

1997
MEE Questions
and Analyses

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Preface

This publication includes the questions and analyses from the February 1997 and July 1997 Multistate Essay Examinations. Each test includes seven questions; jurisdictions that use the MEE select the six questions their applicants will answer.

These model analyses to the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions for the sole purpose of assisting graders in grading the examination. These models are not an official grading guide. Some states grade the MEE on the basis of state law, and jurisdictions are free to modify the analyses, including the suggested weights given to particular points, as they wish. Grading of the MEE is the exclusive responsibility of the jurisdiction using the MEE as part of its admissions process.

The topic or topics covered by each question are listed on the first page of its accompanying analysis, followed by Roman numerals which refer to the subject matter outline for that topic. For example, question 1 on the February 1997 MEE tested Decedents' Estates II.A, Execution requirements; II.I, Construction problems. Subject matter outlines are included in the MEE Information Booklet and can also be found at www.ncbex.org.

Description of the MEE

The Multistate Essay Examination is a three-hour examination consisting of six questions. The examination is administered in one continuous three-hour time period. Applicants are expected to spend approximately thirty minutes answering each of the questions. The areas of law covered by the questions in the examination are: Agency and Partnership, Commercial Paper, Conflict of Laws, Corporations, Decedents' Estates, Family Law, Federal Civil Procedure, Sales, Secured Transactions, and Trusts and Future Interests. Some questions include issues in more than one area of law.

The purpose of the MEE is to test the applicant's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the applicant to demonstrate an ability to communicate in writing effectively

Instructions

The back cover of each test form contains the following instructions:

Do not break the seal on this booklet until you are told to begin.

You will have three hours in which to write your answers to six of the seven questions contained in this booklet; you will be told which of the questions you are to answer. Each question is designed to be answered in thirty minutes. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise, simply draw a line through the material you wish to delete.

Read each fact situation very carefully and do not assume facts which are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show: an understanding of the facts; a recognition of the issues included; the applicable principles of law; and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Some jurisdictions instruct applicants to answer MEE questions according to the law of the jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

February 1997 MEE

► *QUESTIONS*

Decedents' Estates

Family Law

Secured Transactions

Agency & Partnership/Corporations

Federal Civil Procedure/Conflict of Laws

Commercial Paper

Trusts & Future Interests/Decedents' Estates/Family Law

DECEDENTS' ESTATES QUESTION

Husband's valid will provides:

I, Husband, leave my entire estate to Wife, or, if she predeceases me, I leave my entire estate in equal shares to my son, Son, and my daughter, Daughter.

Wife's valid will bequeaths her entire estate to Husband. It does not provide for an alternate gift if Husband predeceases her.

Husband and Wife recently died in a fire in their home. The fire was set by Son in his second-floor bedroom at 2:00 a.m. Wife's body was found in her nightclothes in the second-floor bedroom she shared with Husband. Husband's body was found in his nightclothes at the base of the stairs on the first floor of their home with his head facing the front door, his feet toward the upstairs landing, and red marks on his stomach indicating that he had been crawling down the stairs when he had been overcome by smoke.

Husband and Wife were survived by Son and Daughter and by Son's daughter, Granddaughter.

Son claims the fire was set inadvertently when a cigarette he was smoking in bed dropped to the mattress, causing it to ignite. The fire marshal has found traces of a combustible substance on the premises, suggesting the possibility that the fire may have been set intentionally. The local prosecutors, however, have declined to seek an indictment because, although the available evidence indicates that it is more likely than not that Son intentionally set the fire, the evidence is insufficient to support a criminal conviction.

The intestate succession statute of this jurisdiction provides that a decedent's surviving spouse is his or her sole heir. If there is no surviving spouse, the decedent's issue take the estate per stirpes. This jurisdiction also has enacted the Uniform Simultaneous Death Act.

1. To whom should Husband's estate be distributed? Explain.
2. To whom should Wife's estate be distributed? Explain.

FAMILY LAW QUESTION

Four years ago, Father and Mother began living together in Mother's house in a state that does not allow common-law marriage. They never married and they never discussed marriage. Father soon took over appointment-making and bookkeeping for Mother's veterinary practice. Mother asked Father to quit touring with his musical group and to stay home to help her with the practice and care for the home and their pets. "It would make our lives less hectic, and I'll share what I'm making with you," she said. He agreed. Mother did not pay Father a salary for helping her with her veterinary practice or for his housekeeping services.

Twenty months ago, Mother gave birth to Daughter, who is Father's biological child. Mother stayed at home with Daughter for six weeks and then went back to work, leaving Daughter in Father's full-time care.

Ten months ago, Mother told Father that she no longer loved him, and she demanded that he move out. He did so. Within a few weeks Mother married Stepfather, with whom she and Daughter now live. Father made no attempt to see Daughter after he moved out of Mother's house, and he has not paid or offered to pay child support.

Father has learned that a trial court recently entered a decree allowing Stepfather to adopt Daughter. The governing statute provides that notice of adoption proceedings must be given to unmarried fathers only if they have filed a declaration of paternity with the Bureau of Vital Statistics or if, within the six months preceding filing of the motion, they have lived with the child or offered to support the child. Since Father satisfied none of these criteria, he did not receive notice of the adoption proceeding.

1. If Father moves to set aside the adoption of Daughter on the ground that failure to give him notice of the proceeding violates due process, should the court grant the motion? Explain.
2. If the adoption decree is not set aside, may a court order that Father be allowed to visit Daughter over the objections of Mother and Stepfather? Explain.
3. Upon what theories, if any, may Father be entitled to a share of the property that Mother acquired between the time she asked him to quit traveling and stay home and the time he moved out of the house? Explain.

SECURED TRANSACTIONS QUESTION

Debtor manufactures widgets. On May 3, 1996, Lender loaned Debtor \$ 100,000 for general operating expenses. That same day, Lender filed a valid financing statement, signed by Debtor, in the proper UCC filing offices. The financing statement covered all widget machines owned by Debtor, “including after-acquired widget machines.” On that date, May 3, Debtor owned just one widget machine, Machine No. 1, which was worth \$50,000. No security agreement was signed at that time.

On May 13, 1996, a second lender, Bank, loaned Debtor an additional \$100,000 for general operating expenses. On the same day, Debtor signed a valid security agreement that granted Bank a security interest in “all widget machines, now owned or hereafter acquired by Debtor.” Debtor also signed a valid financing statement which covered all widget machines owned by Debtor, “including after-acquired widget machines.” That day, Bank filed the financing statement in the proper UCC filing offices. At that point, Debtor still owned just one widget machine, Machine No. 1.

On May 16, 1996, a third lender, CreditCo, loaned Debtor an additional \$50,000 to purchase a second widget machine, Machine No. 2. On that day, Debtor signed a valid security agreement that granted CreditCo a security interest in Machine No. 2. Debtor used the proceeds of CreditCo’s loan to purchase Machine No. 2 for \$50,000 on the next day, May 17. Debtor, however, did not receive possession of Machine No. 2 until May 28. On May 31, CreditCo filed a valid financing statement that covered Machine No. 2, signed by Debtor, in the proper UCC filing offices.

Meanwhile, on May 29, 1996, Lender discovered that it had forgotten to have Debtor sign a security agreement for the May 3 loan. Later that day, May 29, Lender got Debtor to sign a security agreement in which Debtor granted to Lender a security interest in all of Debtor’s widget machines, “including after-acquired widget machines.” On that date, May 29, Debtor owned both widget machines, Machine No. 1 and Machine No. 2, each of which was worth \$50,000.

Debtor subsequently defaulted on all three loans. Shortly after the default, but before any of Debtor’s creditors took steps to repossess the widget machines, Debtor sold Machine No. 2 to WidgetCo, another widget manufacturer, for \$25,000. WidgetCo purchased the machine in good faith and had no actual knowledge that Machine No. 2 was covered by a security interest.

1. As between Lender and Bank, whose security interest has first priority as to Machine No. 1? Explain.
2. As among Lender, Bank, and CreditCo, whose security interest has first priority as to Machine No. 2? Explain.
3. Can the secured party with priority recover Machine No. 2 from the purchaser, WidgetCo? Explain

AGENCY & PARTNERSHIP/CORPORATIONS QUESTION

Wareco is a corporation that operates a small commercial storage warehouse. Pres is the president of Wareco and Sec is the secretary of Wareco. Both Pres and Sec regularly attend board meetings, although neither of them is a director or shareholder of Wareco. At a January 1 board meeting, the Wareco board of directors passed a resolution stating that the president of the corporation may not enter into any contract for over \$ 1 million without the express prior approval of the board of directors.

On February 1, Pres signed a contract as president of Wareco providing that Wareco would purchase a fleet of 50 trucks from Able, Wareco's usual supplier of trucks. The purchase price specified in the contract was \$20 million. Able was unaware that the board of directors of Wareco had never approved this transaction, but he did know that Wareco had never owned more than five trucks at any one time. On February 2, the board learned of the contract with Able and immediately repudiated it.

On March 1, Pres proposed to the board of directors of Wareco that the corporation purchase a forklift from Beta. Forklifts are essential to Wareco's business and it owns several of them. Because the board did not believe Wareco needed an additional forklift, it passed a resolution disapproving the proposed purchase. Nevertheless, without the board's knowledge, on March 5, Pres signed a contract as president of Wareco to purchase a forklift from Beta for \$2,000. Beta had no knowledge of the board's disapproval. On March 6, the board learned of the contract with Beta and immediately repudiated it.

On April 1, Pres signed a contract as president of Wareco providing that Wareco would purchase a herd of cattle from Rancher for \$2 million. Sec, as secretary of Wareco, signed and delivered a document certifying to Rancher that the Wareco board of directors had earlier approved the execution of this contract by Pres in a resolution validly passed at a duly called meeting of the board. Sec attached a copy of the text of the resolution to the certificate. Sec frequently signed such certificates as part of Sec's duties as secretary. In fact, the execution of this contract had not been approved at a board meeting, but instead was previously approved without a meeting by a consent resolution signed by four of the five members of the Wareco board of directors. Rancher was unaware that Sec's certificate was incorrect. On April 2, the board learned of the contract with Rancher and immediately repudiated it.

1. Can Able recover damages from Wareco? From Pres? Explain.
2. Can Beta recover damages from Wareco, and, if so, does Wareco have a cause of action against Pres? Explain.
3. Can Rancher recover damages from Wareco? Explain.

FEDERAL CIVIL PROCEDURE/CONFLICT OF LAWS QUESTION

Ten years ago, a valuable painting by an old master was stolen from Museum, a nonprofit organization incorporated and located in State X. At the time of the theft, the painting was worth approximately \$800,000. Today it is worth several million dollars. Police investigated the theft, but no suspects were identified. Museum made diligent efforts to locate the painting, but it was never recovered.

Two days ago, on Wednesday, Museum Director learned from a friend in the art business that the stolen painting had surfaced in the hands of Collector, a resident and citizen of State Y. Museum Director's friend told him that Collector plans to sell the painting to an art dealer from Germany; that the sale is scheduled to take place tomorrow, on Saturday, at Collector's home in State Y; and that the German dealer has airplane tickets back to Germany shortly after the scheduled sale.

Museum's lawyer prepared a civil action against Collector to recover possession of the painting. This morning (Friday), the verified complaint in that civil action was filed in federal district court in State Y, properly invoking the diversity jurisdiction of the court. Museum simultaneously filed a motion asking the federal district court to restrain Collector's sale of the painting.

Both the verified complaint and the motion allege (among other things) that Museum owns the painting; that it was stolen; that Collector now has possession of it; that the painting is a priceless example of Renaissance artwork; that it was the centerpiece of Museum's collection before its theft; that Museum believes on the basis of reliable information that Collector plans to sell the painting to a foreign purchaser; and that Museum will suffer irreparable injury if the painting is sold and taken out of the country. The motion is also supported by an affidavit, based upon Museum Director's personal knowledge, detailing the difficulty Museum would have in recovering the painting if it left the country.

A separate affidavit by Museum's attorney states that several efforts have been made to locate Collector at his home and office in order to serve process and a copy of the motion, but that those efforts have failed, and that the location of Collector is unknown. Collector is, however, expected to be at his home to consummate the sale of the painting on Saturday morning, and Museum plans to have both the summons and the requested restraining order served on Collector at that time. Museum has filed with its motion a properly secured bond in an amount adequate to reimburse Collector for costs and damages that might result if Collector is wrongfully restrained.

The State Y statute of limitations for a civil action to recover possession of personal property has run. State X has a 15-year statute of limitations for art theft cases, included as part of a law that created a cause of action specifically for recovery of stolen art objects. This statute of limitations has not run.

1. May the federal district court issue an order restraining the sale of the painting before Collector has been served with process or given notice of the motion to restrain the sale? Explain.
2. If the court issues a restraining order and it is properly served on Collector (together with copies of the summons and complaint), will the order remain in effect until there can be a

Federal Civil Procedure/Conflict of Laws Question

trial on the merits of the civil action, or must Museum take further steps to continue the restraint on Collector pending such trial? Explain.

3. Will the federal district court apply State Y's statute of limitations, thus barring the cause of action created by the law of State X? Explain.

COMMERCIAL PAPER QUESTION

Software, Inc., applied to Bank for a \$250,000 loan to finance an expansion of its business. Bank was unwilling to make the loan unless Investor, an independently wealthy businessman with a substantial stock interest in Software, agreed to co-sign the loan. Despite the fact that he held stock in Software, Investor played no role in managing the company and did not serve on its board of directors.

Software's chief executive officer (CEO) asked Investor to co-sign the loan. After studying Software's expansion plans, Investor urged CEO to seek a \$500,000 loan, arguing that \$250,000 was not enough to finance fully the proposed expansion. CEO, however, was adamantly opposed to incurring any debt beyond \$250,000 and refused to consider seeking a larger loan. Nonetheless, Investor agreed to talk further with Bank about co-signing the loan.

In separate negotiations with Bank, to which neither CEO nor Software was party, Investor explained his belief that a \$500,000 loan was necessary to finance the proposed expansion and indicated his unwillingness to co-sign a loan for \$250,000, which he felt would prove inadequate. Investor agreed to co-sign the \$250,000 loan on condition that Bank agree to lend Software an additional \$250,000 within six months, if necessary to complete the project. Bank agreed and wrote a letter to Investor to that effect. This agreement and letter were not disclosed to Software or CEO.

On January 15, Bank made Software a \$250,000 loan with a due date of November 1. A negotiable promissory note was signed both by CEO on behalf of Software and by Investor personally. Software and Investor were designated co-makers on the note.

Within three months, Software had spent the full \$250,000 and had still not completed the expansion project. Software approached Bank about a second loan for \$250,000. Bank, fearful that Software was in a shaky financial situation, refused the second loan. As a result, Software was unable to complete the expansion project.

When the \$250,000 loan came due on November 1, Investor told Software of the secret agreement between Investor and Bank. Both Software and Investor refused to pay Bank. After several requests for payment, Bank sold the overdue note to Collection Agency for \$ 150,000. Bank endorsed the note and transferred it to Collection Agency on December 15.

Collection Agency has now sued both Software and Investor seeking payment of the note. State law permits the introduction of evidence of contemporaneous or previous agreements in suits for breach of contract.

What are the rights and liabilities of Investor, Software, and Collection Agency on the note? Explain.

TRUSTS & FUTURE INTERESTS/DECEDENTS' ESTATES/ FAMILY LAW QUESTION

Husband, a freelance writer, and Wife, a successful attorney, divorced amicably after ten years of marriage. Their separation agreement, which was merged into their divorce decree, gave Husband custody of their child, Son, who is now eight years old. The decree required Wife to (1) pay \$800 monthly to Husband for child support until Son reached age 18, (2) set aside \$5,000 annually for ten years to finance Son's college education, and (3) transfer \$20,000 annually to Husband during each of the following five years to compensate Husband for his financial contributions toward supporting the family during the marriage while Wife earned her law degree.

One year after the divorce, Wife married New Husband. Two days after they married, Wife executed a valid will leaving her entire estate to New Husband. One year later, she and New Husband had a child, Daughter. Wife died unexpectedly a week after Daughter was born.

In each of the two years immediately following her divorce from Husband, Wife had deposited \$5,000 into a savings account in her name alone at Bank. Wife made only one withdrawal from this account, taking out \$ 1,200 just one month before she died.

Although Wife had paid child support to Husband for the two years immediately before her death, she had made only one \$20,000 payment to Husband before she died.

Wife owned \$500,000 at her death, including the savings account at Bank. New Husband claims Wife's entire estate under her will.

1. Does Wife's obligation under the divorce decree to support Son survive Wife's death? Explain.
2. On what theory could Son make a specific claim to the Bank savings account, and would such a claim be likely to succeed? Explain.
3. Is Wife's estate obligated to pay Husband the unpaid amounts Wife owed him for his financial contributions toward supporting the family while she earned her law degree? Explain.
4. Do Son and Daughter have any other claims to any share of Wife's estate, and, if so, will they succeed? Explain.

July 1997 MEE

► *QUESTIONS*

*Agency & Partnership
Trusts*

Commercial Paper/Secured Transactions

Family Law

Federal Civil Procedure

Corporations

Decedents' Estates

AGENCY & PARTNERSHIP QUESTION

Laura, Tammy, and Sam agreed to open Central Subs, a fast food delicatessen. They each invested \$ 10,000 in Central Subs for its initial expenses, and they agreed that Sam would manage the business and purchase supplies, although the approval of Laura and Tammy would be required for all expenditures over \$500. Finally, they agreed that Central Subs' profits and losses would be shared equally among them.

As part of Central Subs' grand opening, promotional flyers were distributed that pictured Sam, Laura, and Tammy and identified them as the owners of the business.

Sam worked hard managing the store. However, one day when Sam was cleaning the bathroom, he negligently left water on the floor, and Karly, a customer, slipped and fell, severely injuring herself. Karly sued Central Subs and the three investors individually, claiming they were responsible for the injuries she had incurred. She demanded \$100,000 in damages.

Several weeks later, the store ran out of luncheon meats. Without consulting anyone, Sam walked into Meatco, a nearby butcher shop, and ordered \$600 worth of meat. Although Meatco was not the shop where Central Subs usually did business, Meatco agreed to sell Sam the meat on credit when Meatco's owner recognized Sam from the Central Subs promotional flyer.

After several months of operation, Central Subs' business was not profitable, and Laura and Tammy blamed it on Sam's poor management of the store. At the next meeting of the investors, Laura and Tammy told Sam that they were closing down the business and that his job at the store was terminated. They also told him to return to the store after the meeting to drop off all of Central Subs' property. They also refused to pay Meatco's bill, claiming that Sam had exceeded his authority by making the purchase without their approval.

Immediately after the meeting, while he was driving back to the store to drop off Central Subs' property, Sam negligently ran over Pat, a pedestrian, causing Pat serious physical harm. Pat filed suit against Central Subs and the three investors individually for tort damages. Meatco also filed suit against Central Subs and the three investors individually for the amount of its unpaid bill.

Can Karly, Meatco, and Pat each recover from Central Subs? Explain. From the investors individually? Explain.

TRUSTS QUESTION

In 1980, Smith, a graduate of Education College, created the Smith Trust, naming himself as Trustee. Under the terms of the Smith Trust, all income was to be used to “provide four-year full scholarships for deserving children of Smith Corporation employees to attend Education College.” The Smith Trust also provided that “if, for any reason, Education College should cease operations as a four-year college, the trust shall terminate and the trust property shall revert to Smith.” Smith reserved the power to revoke and amend this trust. Smith Corporation employs 15,000 people.

In 1994, Testator, also a graduate of Education College, and a resident of Smalltown, executed a will leaving \$300,000 to Testator’s child, Able. Testator’s will also provided:

My child, Able, has been well provided for, and I do not want to discourage him from becoming a useful and productive citizen by leaving him more. For that reason, and because I have seen firsthand the tremendous benefits that Education College provides to people of diverse backgrounds, I give my residuary estate to the Trustee of the Smith Trust, as the same is amended from time to time, to be held and disposed of as part of the principal of the Smith Trust.

In 1995, Smith amended the terms of the Smith Trust to limit scholarships to “Presbyterian children of Smith Corporation employees,” rather than “deserving children of Smith Corporation employees.”

Three months later, Smith died intestate survived by only one child, Harry. Bank became successor trustee of the Smith trust.

On September 1, 1996, Education College closed permanently because of a lack of resources. One month later, Testator died leaving an estate of \$2 million. Able was Testator’s only heir.

Harry claims that the Smith Trust terminated upon the closing of Education College and that Harry is entitled to the property Smith transferred to this trust.

Able claims that Testator’s residuary bequest to the Trustee of the Smith Trust fails and that Able is entitled to this bequest. As successor trustee, Bank claims that the Smith Trust is entitled to Testator’s residuary estate in accordance with the terms of Testator’s will. The Smalltown Civic Corporation, a local nonprofit corporation that annually awards \$5,000 scholarships to high-ranking Smalltown High School graduates, also claims that it is entitled to Testator’s residuary estate. It proposes to use the income from the bequest to award additional scholarships to high school graduates of diverse backgrounds.

1. Is Harry entitled to the property Smith transferred to the Smith Trust? Explain.
2. To whom should Testator’s estate be distributed? Explain.

COMMERCIAL PAPER/SECURED TRANSACTIONS QUESTION

On August 1, Alice sold her piano to Bart. In addition to a down payment, Bart gave Alice a negotiable note for \$2,000 payable on demand to the order of Alice. On August 5, Alice asked to borrow \$2,500 from Cathy. Cathy agreed, but she insisted as a condition of the loan that the loan be secured by Bart's \$2,000 note. Alice signed an agreement that granted Cathy a security interest in Bart's note and promised to deliver the note to Cathy in the next week or so. Cathy delivered the \$2,500 to Alice that same day but did nothing further to perfect Cathy's interest in Bart's note.

On August 9, through no fault of Alice, Dan stole the note. Alice had already signed her name, and nothing more, on the back of the note. Dan wrote his own signature beneath Alice's. Dan then sold the note for \$ 1,900 to Edwin, who had no way of knowing how Dan had acquired the note. On August 15, Edwin brought the note to Bart and presented it to him for payment. Bart refused to pay Edwin because the piano Alice had sold him turned out to be worthless. Also on August 15, Cathy learned that Edwin had the note and demanded that Edwin turn it over to her.

1. Can Edwin successfully enforce the note against Bart? Explain.
2. Is Cathy's claim to the note superior to Edwin's claim? Explain.

FAMILY LAW QUESTION

Al and Bonnie were graduate students at State University. They rented a house together, and each paid half the rent and utilities. They had separate bedrooms and shared the kitchen, bath, and living room. They usually prepared and ate their evening meals together. They were good friends but not lovers.

Six months ago, Al, who was a foreign student in the United States on a student visa, lost financial support for his research and contemplated quitting school temporarily in order to work. However, he knew that if he quit school he would lose his student visa. He explained his plight to Bonnie and asked if she would go through a marriage ceremony with him but not otherwise change the way they had been living. He believed this would entitle him to remain in the country as the spouse of a U.S. citizen even though he was not in school. Bonnie agreed on condition that they sign an agreement providing that they would (1) divorce whenever either wanted, (2) be free to come and go and associate with whom they pleased, and (3) not be responsible for each other's school and other debts. Al agreed, and both signed the agreement.

Four months ago, Al and Bonnie obtained a marriage license and participated in a marriage ceremony before a judge at city hall. Thereafter they continued to live as housemates as they had before.

Two weeks ago, Al was seriously injured in an automobile accident. He was brought, unconscious, to Hospital's emergency room, where doctors immediately performed surgery in an attempt to save his life. However, Al died without ever regaining consciousness. The course of treatment the doctors chose was appropriate under the circumstances. At some point, Hospital personnel found a card in Al's wallet that identified Bonnie as his wife and named her as the person to notify in an emergency. They called her, but she arrived at Hospital after he died. At Hospital, she openly grieved for him.

Some time later, Hospital's business office called to ask Bonnie about paying for Al's care, but Bonnie replied that she was "not really Al's wife" and was "not responsible for his debts." Al did not have medical insurance. Hospital has billed Bonnie for the costs of Al's care.

Is Bonnie liable for the payment of Hospital's bill for Al's care? Explain.

FEDERAL CIVIL PROCEDURE QUESTION

State C has recently enacted an “Unfair Trade Practices Act” (UTPA), the key provision of which reads:

No person shall engage in an unfair method of competition or an unfair act or practice in the conduct of any trade or business.

The Act further provides a private right of action for “any individual who suffers an ascertainable monetary loss” as a result of conduct that violates the UTPA.

Acme is an auto liability insurance corporation incorporated under the laws of State A, with its principal place of business in State B. Acme engages in the insurance business in most states in the United States, including State C. Concerned about the size of jury verdicts in personal injury cases tried in State C courts, Acme ran full-page ads in all major newspapers in State C criticizing as grossly excessive the verdicts being returned by State C jurors. In the ads, Acme urged those who were to be jurors in the future to take into account in their deliberations the impact their verdicts would have on their own liability insurance premiums.

Parker is the plaintiff in a major personal injury case soon to be tried in a State C court. Parker, who is not insured by Acme, considers Acme’s ad campaign to be a form of “unfair act or practice” in violation of the UTPA. Consequently, Parker has filed an action for \$500,000 in damages against Acme in the United States District Court for State C, invoking diversity jurisdiction. At the time this suit was filed, Parker was a citizen of State C. However, one month after the suit was filed, and one week before Acme was served with the summons and complaint, Parker moved his permanent residence to State B, where he now resides.

Acme has simultaneously filed two motions. The first is a motion to dismiss Parker’s suit for lack of jurisdiction over the subject matter on the grounds that: (1) Parker, a citizen of State C on the date suit was filed, was not eligible to file a diversity case in a federal court located in the state where Parker was then domiciled; and (2) even if there were diversity jurisdiction at the time the suit was filed, it has been divested by Parker’s change of domicile to State B.

Acme’s second motion asks the federal district court to stay further proceedings in the case on the ground that it has raised the following defenses: (1) the legislative history of the UTPA reveals that the private right of action it confers is available only to competitors or customers of the one allegedly violating the Act; (2) Acme’s ad campaign is not an “unfair act or practice” within the meaning of the UTPA; and (3) if the UTPA is interpreted to prohibit Acme’s ad campaign, the Act violates the free speech provisions of the United States Constitution. Acme argues that the federal district court should postpone deciding these issues because a State C trial court has recently dismissed an action brought under the UTPA because the plaintiff in that action was neither a customer nor a competitor of the defendant in that case. An appeal from that ruling has been accepted by the State C Supreme Court.

1. How should the federal district court rule on the motion to dismiss for lack of subject matter jurisdiction? Explain.
2. How should the federal district court rule on the motion to stay the case? Explain.

CORPORATIONS QUESTION

Chempro is a closely-held chemical company incorporated in State F. In addition to a number of smaller shareholders, Chempro has five principal shareholders each of whom owns 15% of the shares: Paula, who is Chempro's Chief Executive Officer and Chairwoman of the Board; and Lawrence, Alan, Bruce, and Charles, who are also officers and directors of Chempro. Although each is an officer of Chempro, none of the five principal shareholders has an employment contract with the company.

The five shareholders signed a valid, enforceable shareholders' agreement requiring all of them to vote to elect each other as directors of Chempro.

For many years, Chempro's business prospered, and its value increased substantially. However, Lawrence recently became aware that Paula was diverting corporate funds into her personal bank account. Shortly after his discovery, Lawrence took Paula aside, confronted her with evidence of her wrongdoing from the company's files, and demanded that she repay the funds to Chempro. Paula responded by calling a board of directors' meeting to discuss dismissing Lawrence from the board of directors and firing Lawrence from his position as an officer of Chempro. Paula also immediately removed all of the incriminating files from Lawrence's office.

At the board meeting, Paula claimed that Lawrence had been taking corporate funds and using them for personal reasons. Lawrence responded that Paula was lying and that, in fact, Paula was the responsible party. Lawrence also told the board that he had documents to prove his story but that they had recently been stolen from his office. Without further investigation, Paula and the remaining board members, Alan, Bruce, and Charles, all of whom never really liked Lawrence, voted to remove Lawrence as both an officer and a director of Chempro. Lawrence dissented.

The State F corporate code and Chempro's articles of incorporation and by-laws permit directors and officers to be removed by the board without cause.

1. What claims, if any, does Lawrence have against Chempro, Paula, Alan, Bruce, and/or Charles in Lawrence's capacity as:
 - a) A director? Explain.
 - b) An officer? Explain.
 - c) A shareholder? Explain.
2. Are Lawrence's claims derivative or direct, and, as to any derivative claims, are there any procedural prerequisites he must satisfy before filing the derivative claims in court? Explain.

DECEDENTS' ESTATES QUESTION

Decedent recently died, owning a bank account at First Bank registered in the name of "Decedent in trust for Grandchild." At her death, the balance in this account was \$15,000. Decedent had made all the deposits into this account.

Decedent was also a co-owner of an account at Second Bank, registered in the name of "Decedent and Son, as joint tenants with right of survivorship." Only Decedent had made deposits into this account, It had is balance of 520,000 at her death. Decedent had opened this account three year; before she died, near the time that she sold the family home and moved into Son's home rather than a nursing home. At the time Decedent opened this account, the Second Bank bank officer told her that "a joint account is an ideal way to let Son draw on the account in case you need to reach the money you have put into it."

Three weeks before she-died, Decedent typed a Letter to Friend, who lived in another state. The letter said: "I haven't been feeling well lately. I give you my diamond ring to remember me by. It's yours, but Son would be upset if he learned I had given it to you, and so I'll hold onto it for you. When I die, bring this letter to him and get it." Decedent signed and immediately mailed the letter to Friend, who received it the next day. The ring, which was found among Decedent's personal effects, was valued at \$5,000.

Decedent died indebted and with only the foregoing assets. Her creditors claim that the two bank accounts and the ring must be used to satisfy their claims against her estate.

Are the two bank accounts and diamond ring available for payment of the creditors' claims? Explain.

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► *ANALYSES*

Decedents' Estates

Family Law

Secured Transactions

Agency & Partnership/Corporations

Federal Civil Procedure/Conflict of Laws

Commercial Paper

Trusts & Future Interests/Decedents' Estates/Family Law

DECEDENTS' ESTATES ANALYSIS

(Decedents' Estates II.A, II.I)

ANALYSIS

Legal Problems:

- (1) Did Husband and Wife die simultaneously, or is the evidence sufficient to establish that Husband survived Wife?
- (2) Is Son barred from inheriting from his parents because he caused the fire that resulted in their death?
- (3) If Son is barred from inheriting from his parents because he feloniously and intentionally took the lives of his parents, to whom should the shares that he would have received from their estates pass?

DISCUSSION

The distribution of the estates of Husband and Wife depends on whether each is treated as having survived the other (see Point One), on whether Son is barred from inheriting from his parents because he set the fire that killed them (see Point Two), and, depending on the resolution of these issues, on whether the share of a residuary legatee who is disqualified from taking passes to the other residuary legatees (see Point Three).

Point One (35-45%)

Under the original Uniform Simultaneous Death Act Husband and Wife would probably not be treated as having died simultaneously. Instead, Husband would probably be treated as having survived Wife. However, under the revised version of the Act and the Uniform Probate Code, Husband would be treated as having predeceased Wife because he did not survive her by 120 hours.

The original version of the Uniform Simultaneous Death Act provides that:

Where the title to property or the devolution thereof depends upon priority of death and there is no sufficient evidence that the persons have died otherwise than simultaneously, the property of each person shall be disposed of as if he had survived, (emphasis added)

The Act was revised in 1991 to provide that, even if there is sufficient evidence to establish that a beneficiary named in the will in fact survived the testator, a beneficiary is only treated as having survived the testator if there is clear and convincing evidence that he or she survived the testator by 120 hours. *See* Rev. Unif. Simultaneous Death Act, § 2 (1993). The Uniform Probate Code also treats a beneficiary who does not survive the testator by at least 120 hours as having predeceased the testator. Unif. Prob. Code. §§ 2-104; 2-702.

Under the original Act, a jury might conclude that there was sufficient evidence to establish that Husband in fact survived Wife, even though both died in the fire. Evidence supporting that

Decedents' Estates Analysis

conclusion includes: (1) the fire was started on the second floor of the home; (2) the spouses were apparently in bed when the fire occurred, based upon the time of the fire and the fact that both spouses were in their bedclothes; and (3) Wife was found in the second-floor bedroom while Husband was found on the first floor at the bottom of the stairs, suggesting that both of them attempted to exit the room but that Wife was overcome by smoke before she could reach the stairs. This implies that she died before she could get out of the bedroom whereas he was able to get out of the bedroom and crawl down to the first floor, as evidenced by the position of his body and the marks on his body.

Of course, if the revised Act or the Uniform Probate Code applied, Husband would be treated as having predeceased Wife. Although he may have survived her for some brief period of time, he did not survive her by 120 hours (5 days).

Because Wife did not in fact survive Husband, for purposes of distributing Husband's estate she would not be treated as having survived him under either version of the simultaneous death act. Therefore, Husband's estate passes in equal shares to Son and Daughter, as provided in Husband's will, unless Son is prevented from inheriting (see Point Two).

If Husband is treated as having survived Wife for purposes of distributing Wife's estate, the estate passes to Husband under her will, and it then passes to the successors of Husband's estate. On the other hand, if Husband is treated as not having survived Wife, Wife's estate passes by intestate succession to her heirs because her will did not provide who would take her estate if Husband predeceased her, and antilapse statutes generally do not save gifts to the spouse who dies before the testator. *See* Unif. Prob. Code § 2-603(b). Wife's heirs would be her children, Daughter and Son, unless, as discussed in Point Two, Son is barred from inheriting.

Point Two (35-45%)

Whether Son is barred from inheriting from his parents because he caused the fire that resulted in their deaths depends upon whether the probate court would conclude that he feloniously and intentionally took the lives of his parents. If so, he would be barred from inheriting. If not, he would be entitled to claim as heir or devisee from his parents.

Under the Uniform Probate Code and most modern cases, a person who feloniously and intentionally kills a decedent is barred from claiming a share of the decedent's estate as either heir or beneficiary under the decedent's will. Unif. Prob. Code § 2-803; William M. McGovern Jr., Sheldon F. Kurtz, & Jan E. Rein, *Wills, Trusts and Estates* § 2.4 at 72 (1988). In a few states only murderers are disqualified, and in a few states all felonious killers are disqualified. *McGovern et al.* at 72. Generally, the decedent's estate is then disposed of as if the killer had predeceased the decedent. *Id.*

A conviction of felonious and intentional homicide conclusively establishes that the killer feloniously and intentionally killed the decedent, for purposes of the probate proceedings. *See* Unif. Prob. Code § 2-803(g). In some states inheritance is barred only if there has been a conviction. In most states, if there has been no conviction, the court having jurisdiction over the decedent's estate must determine whether a preponderance of evidence supports the conclusion that the alleged killer feloniously and intentionally took the life of the decedent. *Id.* Some states, however, use a clear and convincing standard, rather than a preponderance of the evidence standard. *See, e.g., Estate of Safran*, 102 Wis.2d 79,306 N.W.2d 27 (1981). *See generally McGovern et al.* at §2.4 at 73-74.

In some states where there is no slayer statute, courts apply the equitable principle that a wrongdoer cannot profit from his own wrong to prevent the killer from inheriting. In such states, the court is likely to hold that the killer succeeds to the property of the deceased victim but holds it as constructive trustee for others. *See, e.g., Estate of Mahoney*, 126 Vt. 31,220 A.2d475 (1966). The facts say that there is sufficient evidence to establish by a preponderance of the evidence that Son intentionally set the fire. If the jurisdiction uses this standard of proof, Son would be barred from taking his parents' estates, and they would be distributed as discussed in Point Three.

If Son is not barred from inheriting from his parents, their estates pass to him and Daughter as described at the end of Point One.

Point Three (15-25%)

If Son is barred from inheriting from Wife, her estate passes to her heirs—Granddaughter and Daughter. If Son is barred from inheriting from Husband, his one-half share passes to Granddaughter.

Wife's estate: As noted above, if Husband is treated as having survived Wife, he takes her entire estate under the terms of her last will, and it will be distributed to those entitled to take his estate. If he is treated as having predeceased her, her estate passes to her heirs, Son and Daughter, unless Son is barred from inheriting from Wife. The bequest to Husband is not saved by a lapse statute because those statutes do not apply to bequests to spouses. If Son is barred, he is treated as having predeceased Wife. Unif. Prob. Code § 2-803(b) and § 2-801(d)(1). Under intestate succession statutes, Son's child Granddaughter takes by right of representation the one-half share Son would have taken. Unif. Prob. Code § 2-103(1).

Husband's estate: As noted above, if Husband is treated as having survived Wife, his estate passes to the beneficiaries named in his will, Son and Daughter, unless Son is barred from inheriting Husband's estate. If Son is barred, the question arises whether Son's one-half share passes to Granddaughter, Son's child, or to Daughter, the other beneficiary named in Husband's will. As noted above, when a person is barred from inheriting because he feloniously and intentionally killed another, the victim's estate passes as if the killer predeceased the victim. *See* Unif. Prob. Code § 2-803(b) and § 2-801 (d)(1).

The argument for Granddaughter is that Husband's will did not expressly condition the gift to Son and Daughter on survivorship and that his will did not provide that the share of either who predeceased him should pass to the survivor. Furthermore, under the typical state antilapse statute, the share of any deceased beneficiary, such as Son, passes to that beneficiary's surviving issue unless the will otherwise provides. *See* Uniform Probate Code § 2-603(b). Under this analysis, Son's one-half share passes to Granddaughter.

Daughter, however, might argue that Son's one-half share passes to her under the "residue of a residue" rule. Under this rule, a residuary bequest that fails to take effect ordinarily passes to the surviving residuary legatee. *See* Unif. Prob. Code § 2-604(b). If the analysis ends there, Daughter takes all of Husband's estate. However, under the Uniform Probate Code, Granddaughter would take the share that Son would have taken, because Unif. Prob. Code § 2-604(a) provides that the antilapse statute prevails over the rule regarding multiple residuary legatees.

FAMILY LAW ANALYSIS

(Family Law V.A, V.B, VII.C, VII.D)

ANALYSIS

Legal Problems:

- (1) Is a statute consistent with the due process clause if it allows a child born out of marriage to be adopted without the consent of the biological father who at one time lived with and provided full-time care for the child but who has not filed with a putative father registry or lived with or supported the child within the six months immediately preceding filing of the adoption petition?
- (2) Does a court have authority to order visitation for a biological parent after that parent's rights have been terminated by the child's adoption by a stepparent?
- (3) Upon what theories may an unmarried cohabitant be entitled to a share of property acquired during the period of cohabitation after the relationship has ended?

DISCUSSION

Point One (35-45%)

An adoption statute is probably unconstitutional if it does not require actual notice to an unwed father who has lived with and formed a substantial relationship with his child, even though he did not file with a putative father registry or live with or support the child during the six months before the adoption petition was filed.

The United States Supreme Court has held that parental rights are fundamental rights protected by the Constitution. *Santosky v. Kramer*, 455 U.S. 745 (1982); *Lassiter v. Dept. of Social Services*, 452 U.S. 18 (1981). While the Supreme Court has never decided a case about the substantive showing that must be made to justify terminating parental rights, it can reasonably be inferred that heightened scrutiny would be used, since the Court has subjected actions limiting parental care and custody to heightened scrutiny. *See, e.g., Wisconsin v. Yoder*, 406 U.S. 205 (1972); *see also Moore v. City of East Cleveland*, 431 U.S. 494 (1977).

If the court finds that Father is entitled to the constitutional rights of a parent, the statute will almost certainly be held unconstitutional because it does not require that he receive notice of the adoption proceedings. The state's interests in facilitating the adoption of children and in expeditious hearings are valid, but the means chosen here completely foreclose a parent from being heard on the merits. *See Stanley v. Illinois*, 405 U.S. 645 (1972), (unwed father who was accorded full parental status was denied procedural due process when he was not given notice of legal proceedings to determine the custody of his children).

The critical question raised here is whether Father, the biological unwed father, has a constitutionally protected interest. Father will rely on *Stanley* and *Caban v. Mohammed*, 441 U.S. 380 (1979), to argue that he does. In *Caban*, the Court found that an unwed father had such

an interest. It also held that a statute which protected his relationship to his children less than it protected their relationship to their mother violated the equal protection clause.

Mother, on the other hand, will rely on *Lehr v. Robertson*, 463 U.S. 248 (1983), which upheld, against due process and equal protection challenges, a statute which allowed a child born outside of marriage to be adopted without actual notice to a known biological father who did not satisfy a limited set of criteria for receiving notice. The Court said, “The possibility that he may have failed to [file with a putative father registry, which would have entitled him to notice under the statute] because of his ignorance of the law cannot be a sufficient reason for criticizing the law itself. The New York legislature concluded that a more open-ended notice requirement would merely complicate the adoption process, threaten the privacy interests of unwed mothers, create the risk of unnecessary controversy, and impair the desired finality of adoption decrees.” Based on this reading of *Lehr*, Mother would argue that the statute here is constitutional as applied to Father because he could have filed a declaration of paternity and assured himself of receiving notice of petitions to adopt Daughter.

Father can distinguish *Lehr* on the basis that the father and child in that case had never lived together and had never developed any kind of a relationship. The *Lehr* court specifically said, “[W]e are not assessing the procedures for terminating a developed relationship.” In this case, Father had fully assumed the responsibilities of fatherhood and had developed a substantial relationship with Daughter before Mother interfered with it. Therefore, he might successfully argue under *Stanley* and *Caban* that at a minimum he was entitled to notice of the adoption proceeding so that he had an opportunity to protect his legal relationship with Daughter. See generally Elizabeth Buchanan, *The Constitutional Rights of Unwed Fathers Before and After Lehr v. Robertson*, 45 Ohio St. L.J. 313 (1984).

Point Two (15-25%)

In most states, adoption of a child completely severs the legal relationship between the child and the biological parent whose status as legal parent is terminated by the adoption. Courts are not authorized to order visitation for such a biological parent. In a few states, courts have discretion to order visitation when in the child’s best interests.

In most jurisdictions, the theory of adoption is that the adoptive parent completely replaces the biological parent, who becomes legally unrelated to the child. In such states, courts may not order visitation for a biological parent following adoption because such an order would be inconsistent with the fundamental nature of adoption. In most states, a court does not have discretion to determine whether visitation would be in Daughter’s best interests and would refuse to issue a visitation order.

In a few states, statutes authorize courts to order visitation for a nonparent who has a substantial relationship with a child when visitation is in the child’s best interests. *E.g.*, Or. Rev. Stat. § 109.119; Cal. Fam. Code § 3100(a). However, these statutes may be applied narrowly in the factual setting of a contested stepparent adoption. See, *e.g.*, *Vincent B. v. Joan R.*, 126 Cal. App.3d 619, 179 Cal. Rptr. 9 (1981), discussed in *Michael H. v. Gerald D.*, 491 U.S. 110 (1989) (court-ordered visitation over mother’s objection would be contrary to child’s best interests). In such states, Father would have a sufficient relationship with Daughter to support a visitation order, but a court might determine on the facts that it would be contrary to Daughter’s best interests to order visitation over Mother’s objection.

Point Three (35-45%)

In most states, an express contract between unmarried cohabitants to share property is enforceable, though often difficult to prove. Many states also order property sharing between cohabitants upon proof of an implied-in-fact contract or by means of an equitable remedy to prevent unjust enrichment.

When unmarried cohabitants break up, their property rights are different from the rights of married people getting a divorce. Most fundamentally, courts do not have authority to apply the law of equitable distribution to unmarried couples. Instead, it is presumed that the cohabitant in whose name property was titled during the relationship will own it after the break-up. If property is jointly titled or untitled, division by a suit in partition is available for relief. The leading American case on property rights of unmarried cohabitants, *Marvin v. Marvin*, 18 Cal.3d 660, 134 Cal. Rptr. 815, 557 P.2d 106 (1976), holds that the cohabitant who does not have title may be able to make a claim to ownership of some portion of the property under several theories: express contract, implied-in-fact contract, and constructive trust, resulting trust or quantum meruit to prevent unjust enrichment.

Today, many courts hold that if cohabitants make an express contract to share property or for support, the contract is enforceable and not contrary to public policy, provided that the sexual aspects of the relationship can be severed from the economic aspects. Homer H. Clark, *The Law of Domestic Relations in the United States*, §§ 1.2, 15.7 (2d ed. 1988). Contra: *Hewitt v. Hewitt*, 77 Ill.2d 49, 394 N.E.2d 1204 (1979); *Rehak v. Mathis*, 239 Ga. 541, 238 S.E.2d 81 (1977). In most states the statute of frauds does not require that an express contract between cohabitants be written. *Butsee* Minn. Stat. §§ 513.075, 513.076. On the facts here, severing the sexual and economic aspects of any contract is quite plausible, since Father helped in Mother's business as well as running the household. Father would have difficulty, however, proving that he and Mother entered into an express contract that was sufficiently definite for a court to enforce, since her words were very vague.

Father might have more luck arguing that an implied contract to share property could be inferred from his and Mother's conduct. They became economically interdependent at her suggestion. The birth of Daughter and the attendant division of labor, with Mother working in the marketplace and Father caring for the child, strengthens this argument.

Father might also argue that a court should impose a constructive or resulting trust on property that Mother acquired during the cohabitation to prevent her unjust enrichment. He would argue that she induced him to forego his chance to develop his career in reliance on her promises or led him to believe that the property she acquired would benefit both of them. Alternatively, he might argue that he is entitled to the fair market value of the services he provided her as business manager, housekeeper, and nanny on a theory of quantum meruit. Not all courts hold that these remedies are available to cohabitants because they think their use comes too close to re-creating common-law marriage. *See, e.g., Hewitt v. Hewitt*, 77 Ill.2d 49, 394 N.E. 2d 1204 (1979). If these theories were available, Mother might argue that Father has been adequately compensated for his services and work by her supporting him while they lived together.

SECURED TRANSACTIONS ANALYSIS

(Secured Transactions II.D, III.B, IV.C. IV.F)

ANALYSIS

Legal Problems:

- (1) Did Lender's delay in getting a signed security agreement from Debtor subordinate Lender's position in Machine No. 1 to Bank, which filed after Lender but perfected before Lender?
- (2) Did CreditCo's delay in filing its financing statement prevent CreditCo from receiving the special priority benefits of its status as a purchase-money secured lender?
- (3) Can WidgetCo, a good-faith purchaser for value, retain Machine No. 2 when a secured party seeks to recover it after Debtor's default?

DISCUSSION

Point One (30-40%)

Because Lender was the first creditor to file a financing statement covering Machine No. 1, Lender's interest in the machine has priority over Bank's even though Bank was the first creditor to perfect its interest in the machine.

The general priority rule among competing secured creditors under UCC Article 9 is that the first creditor to file a financing statement or perfect its interest will prevail. UCC § 9-312(5)(a). In this case, Lender filed its financing statement against Machine No. 1 on May 3, the same day it lent Debtor \$ 100,000. Because Lender failed to get a signed security agreement from Debtor, however, Lender did not perfect its security interest in the machine until May 29, when it belatedly obtained such a signed agreement.

According to the facts of this case, Bank both filed a financing statement and perfected its interest in Machine No. 1 on May 13. Notwithstanding that Bank's perfection came 16 days prior to Lender's, UCC § 9-312(5)(a) gives Lender priority in the machine over Bank because Lender filed its financing statement 10 days before Bank either perfected or filed its financing statement. Because Lender ultimately perfected, its priority dated back to the time it filed the financing statement.

Point Two (30-40%)

Because CreditCo had a purchase-money security interest and filed its financing statement within 10 days after Debtor received possession of the collateral, CreditCo takes priority over both Lender and Bank as to Machine No. 2 even though both Lender and Bank filed before CreditCo.

Creditors who have purchase-money security interests qualify for a special priority under UCC Article 9. If the purchase-money interest is in collateral other than inventory, the secured creditor

Secured Transactions Analysis

with that special interest takes priority over competing interests in the same collateral as long as the purchase-money interest was perfected at the time the debtor received possession of the collateral or within 10 days thereafter. UCC § 9-312(4).

Under the facts of this case, CreditCo qualified as a purchase-money lender under Article 9. CreditCo gave value to enable Debtor to purchase Machine No. 2, and Debtor in fact used CreditCo's loan proceeds to purchase Machine No. 2. UCC § 9-107(b). Although CreditCo failed to file a financing statement until 15 days after it made the enabling loan to Debtor and 14 days after Debtor in fact purchased the machine, Debtor did not have possession of the machine until May 28, just three days before CreditCo filed its financing statement. The 10-day grace period given to purchase-money lenders under UCC § 9-312(4) measures the period between when the debtor receives possession of the collateral and when the creditor files a financing statement. Under the facts, CreditCo fell within that grace period in this case. Therefore, as to Machine No. 2, CreditCo's interest prevails over both Lender's and Bank's, even though Lender filed 28 days before CreditCo did, and Bank perfected 18 days before CreditCo did.

Point Three (30-40%)

WidgetCo loses to any of the perfected secured parties because the sale was not authorized and was not in the ordinary course of business.

A security interest continues in collateral notwithstanding its sale unless the secured party authorized the sale. UCC § 9-306(2). Moreover, the security agreement (and hence the security interest) is effective against purchasers of the collateral. UCC § 9-201. Buyers in the ordinary course of business and some purchasers of consumer goods can sometimes prevail over a protected secured party. UCC § 9-307. However, Debtor does not appear to be a merchant in the business of selling widget machines, so WidgetCo is not a buyer in the ordinary course. UCC § 1-201(9). If widget manufacturers regularly sell their used equipment to other manufacturers, a case might be made that the sale was "in the ordinary course." However, the purpose of the BIOC priority is to protect buyers out of inventory, which WidgetCo clearly was not.

Thus, WidgetCo would lose to any of the three secured parties, each of whom has a perfected security interest which continues in the collateral after its sale (UCC § 9-306) and is effective against the purchaser (UCC § 9-201).

AGENCY & PARTNERSHIP/CORPORATIONS ANALYSIS

(Agency & Partnership II.A, II.B; Corporations V.B, V.C)

ANALYSIS

Legal Problems:

- (1) Did Pres have the real or apparent authority to bind Wareco and, if not, is he personally liable to Able?
- (2) Did Pres have the real or apparent authority to bind Wareco to Beta and, if so, is he liable to Wareco?
- (3) Is Wareco liable on the contract with Rancher either because Pres had real or apparent authority or as a result of See's erroneous certificate?

DISCUSSION

The facts are clear that Wareco acted promptly to repudiate each of the unauthorized contracts. This eliminates any argument that Wareco had accepted any benefits from the contracts or that Able, Beta or Rancher had detrimentally relied upon Wareco's execution of the contracts, and that, therefore, the contracts would be binding on Wareco regardless of their unauthorized nature.

Point One (25-35%)

The January board resolution denied Pres any real authority to enter into the contract with Able. Apparent authority would exist only if a reasonable person in Able's position would believe authority existed. Without real or apparent authority Pres did not bind Wareco, but did bind himself by breaching his implied warranty of authority.

An agent may bind a principal to a contract if the agent is acting within his real or apparent authority. Real authority may be expressed or implied to the agent by the principal. In this case no real authority existed, because Wareco expressly stated in the board resolution that Pres had no authority to enter into contracts for this amount without prior board approval. Apparent authority exists if the conduct of the principal leads the third party reasonably to believe that the agent has the authority. Restatement (Second) of Agency § 27. By electing Pres president, Wareco may have led reasonable third parties to believe that Pres had authority to enter into transactions in the ordinary course of Wareco's business. Restatement (Second) of Agency § 73. Even though the nature of the transaction suggests that it was in the ordinary course of business, the number of trucks compared to the size of Wareco's current fleet made the transaction extraordinary. This should have put Able on notice that no authority existed. Thus, Pres had neither real nor apparent authority, and Wareco is not liable to Able.

An agent purporting to act on behalf of a principal, but lacking authority, becomes liable on the contract for breaching his implied warranty of authority. Restatement (Second) of Agency § 329. Because Pres had no real or apparent authority, he is personally liable to Able for breach of his implied warranty of authority.

Point Two (25-35%)

The March board resolution denied Pres real authority to enter into the contract with Beta. However, apparent authority existed given the ordinary nature of the transaction and Wareco is bound. Because Pres bound Wareco when he was directed not to, he is liable to Wareco.

As stated in Point One, an agent can bind a principal if operating within his real or apparent authority. Pres lacked real authority to purchase the forklift because the March board resolution instructed him not to enter into this transaction. Apparent authority existed, however, because a reasonable person in Beta's position would believe that the president of Wareco had authority to enter into this ordinary transaction. Thus, Wareco is liable to Beta on the contract.

An agent who injures his principal by acting beyond the principal's manifestation of consent is liable to the principal. Restatement (Second) of Agency § 383. In this case, Pres entered into the contract with Beta despite the disapproval of the board of directors of Wareco. Since Wareco became bound on this contract by the act of Pres beyond his real authority, Pres is liable to Wareco.

Point Three (25-35%)

Although Pres had no real authority because the consent resolution was not unanimous and absent See's certificate, had no apparent authority because the transaction was extraordinary, Wareco is bound because Sec had the authority to give the certificate which created apparent authority in Pres.

To be effective, a written consent in lieu of a directors' meeting typically requires signatures of all of the directors. *See, e.g.*, Revised Model Business Corporations Act § 8.21; General Corp. Law of Delaware § 141(f). Because the consent resolution in this situation was not signed by all of the directors, it was ineffective. Pres, therefore, had no real authority because the purchase price exceeded the \$ 1 million limitation contained in the January resolution.

In the absence of See's certificate, Pres had no apparent authority because the purchase of a \$2 million herd of cattle was not ordinary for this corporation. Rancher could not reasonably believe that the president of a commercial warehouse corporation would have the authority to make such a purchase on behalf of a corporation.

However, delivery of See's certificate created apparent authority. The secretary of a corporation has the authority to authenticate records of the corporation. RMBCA §§ 8.40(c); 1.40(20). Sec erroneously authenticated a resolution approving the execution by Pres of the contract with Rancher. Although this authentication was not accurate, it binds Wareco, and Rancher may rely on the authority of Pres indicated in the authenticated resolution. Therefore, Wareco is liable on the contract with Rancher.

FEDERAL CIVIL PROCEDURE/CONFLICT OF LAWS ANALYSIS

(Federal Civil Procedure III, Conflict of Laws III.C)

ANALYSIS

Legal Problems:

- (1) May a federal district court issue an order restraining Collector from selling the painting even though Collector has not been served with process in the action and does not have notice of the request for the order?
- (2) If the court issues an *ex parte* order restraining the sale of the painting, how long will the order be effective and what further steps, if any, must Museum take to preserve the order in force until the date of trial?
- (3) Should the State Y statute of limitations be applied to bar Museum's cause of action to recover possession of the painting?

DISCUSSION

Point One (40-50%)

Under Fed. R. Civ. P. 65(b) the court may grant a temporary restraining order against Collector without notice to Collector if irreparable injury will result without the issuance of the *ex parte* order and if notice cannot reasonably be given.

Fed. R. Civ. P. 65(b) permits federal courts to issue temporary restraining orders on an *ex parte* basis when that is necessary to prevent irreparable injury and preserve the status quo pending a hearing on an application for a preliminary injunction. Because the issuance of a restraining order without notice to a party is an extraordinary action that implicates the restrained party's due process rights, Rule 65(b) strictly circumscribes the circumstances under which *ex parte* restraining orders may be granted. *See generally* Wright & Miller, Federal Practice and Procedure: Civil § 2951.

To obtain an *ex parte* temporary restraining order, the moving party must meet three conditions set out in the federal rules: (1) the moving party must set out "specific facts" in the verified complaint or by affidavit that show that "immediate and irreparable injury... will result to the applicant before the adverse party... can be heard in opposition"; (2) the moving party's attorney "must certify to the court in writing the efforts, if any, which have been made to give the notice and the reasons supporting the claim that notice should not be required," Fed. R. Civ. P. 65(b); and (3) the moving party must provide "security... in such sum as the court deems proper" before the order is issued, Fed. R. Civ. P. 65(c).

Even if the basic requirements of the rules are met, the issuance of a temporary restraining order is still a matter for the sound discretion of the trial court. In addition to insisting on a showing of irreparable injury, the court may demand a demonstration of some likelihood that plaintiff will prevail on the merits. The court will also consider any harm that granting the order will cause

Federal Civil Procedure/Conflict of Laws Analysis

and will weigh that harm against the hardship caused to the plaintiff if the order is not granted. *See Wright & Miller, supra.*

The facts of the problem suggest that it is an appropriate case for entry of an *ex parte* temporary restraining order. First, Museum is in danger of suffering irreparable injury if the order is not granted. The painting is about to be sold and taken out of the country, beyond the reach of the court's process. If that happens, Museum will have great difficulty in recovering it. (As required by Rule 65, these facts are set out in the verified complaint or by affidavit.) Moreover, the loss of the painting, a "centerpiece of Museum's collection," is not the kind of loss that could be adequately compensated by damages through an action for conversion against Collector.

Second, Museum has made a good showing that the order must be issued before notice is given to Collector if the requested relief is to be effective. Museum has attempted to find and notify Collector of the action and of its motion, but has failed to do so. It expects to be able to find Collector at his home at the time of the sale, but unless it has a restraining order in hand at that time, it will be unable to prevent the sale.

Other factors support issuance. There is no reason to believe that Collector would be greatly harmed by a delay in the sale of the painting. Certainly, any damages suffered by Collector as a result of the delay could be compensated. Moreover, once Collector learns of the restraining order, Collector can seek a hearing from the court to have it dissolved. (Under Fed. R. Civ. P. 65(b) such a hearing would have precedence over all other matters on the court's docket, and so could occur very quickly. See the next point in this analysis.)

Because Museum also has provided adequate security pursuant to Rule 65(c), issuance of an *ex parte* temporary restraining order would appear to be appropriate.

The fact that no summons has yet been served in this action is irrelevant. A civil action in the federal courts is commenced by the filing of a complaint. Fed. R. Civ. P. 3. Service of the summons is not necessary for the court to take steps otherwise authorized by the rules. Given that Rule 65(b) authorizes *ex parte* TROs in limited circumstances like these, it is irrelevant whether the summons has yet been served or not, especially when the same factors that prevent Museum from giving notice of the motion for a TRO would also prevent service of the summons.

Point Two (20-30%)

Absent Collector's consent or extraordinary circumstances, an *ex parte* restraining order can stay in effect a maximum of 10 days after which Museum must seek a preliminary injunction (which requires a hearing).

Because an *ex parte* temporary restraining order is an extraordinary remedy, issued without the usual due process guarantees of notice and a hearing, federal practice requires that temporary restraining orders be dissolved as soon as practicable. If Museum wishes to restrain Collector's sale of the painting until the date of trial, the appropriate remedy is a preliminary injunction, which will issue only after notice to Collector and a hearing. Fed. R. Civ. P. 65(a).

Fed. R. Civ. P. 65(b) ensures that a party who is restrained by a TRO will have an early opportunity for a hearing by providing that any TRO "shall expire by its terms within such time

after entry, not to exceed 10 days, as the court fixes” unless the restrained party consents to an extension or good cause can be shown for an extension. Moreover, when a temporary restraining order is entered without notice, a “motion for a preliminary injunction shall be set down for hearing at the earliest possible time,” and the party who received the TRO must proceed with an application for a preliminary injunction or the TRO will be dissolved. Finally, the party restrained by the TRO may move for its dissolution on two days notice to the party who obtained the TRO.

On the facts given, the court is unlikely to extend the TRO beyond 10 days and, in all probability, it will expire before that date. Museum believes it will be able to locate Collector within 24 hours. This will permit Collector to have notice of the restraint of the sale of the painting, and the court should allow Collector to be heard as soon as possible. Certainly, given that Collector is expected to be located shortly, there is no reason to extend the *ex parte* order beyond 10 days. Collector is certainly entitled to an opportunity to be heard. In all likelihood, Collector will move to dissolve the TRO as soon as possible.

Thus, the TRO may not, without further steps, prevent sale of the painting until the civil action to recover possession of the painting is resolved. Museum must take further steps to restrain Collector: it must seek a preliminary injunction, which requires notice and a hearing. Fed. R. Civ. P. 65(a). If Museum does not seek a preliminary injunction, the restraint on Collector will expire within 10 days, if not earlier.

Point Three (30-40%)

The federal district court should probably apply the State Y statute of limitations to this action, although it might apply the State X statute on the theory that it goes to the right and not the remedy.

In diversity actions, federal courts use state law to determine the limitation period applicable to state causes of action. In determining which state’s limitation period to use, federal courts must look to the choice of law rules of the state in which they sit. *Klaxon Co. v. Stentor Electric Mfg. Co.*, 313 U.S. 487 (1941).

The problem does not specify what choice of law approach is followed by the courts of State Y, where this action is being heard. However, most states treat statute of limitations as procedural for choice of law purposes. If State Y treats statutes of limitations as procedural, it would ordinarily apply its own statute of limitations in the absence of a borrowing statute indicating that some other state’s statute of limitations should be used. Because the problem does not indicate that there is any applicable borrowing statute, the usual rule is that State Y should apply its own statute of limitations if that statute bars the action. *See* Restatement (Second) of Conflict of Laws, § 142 (1988 revision). If that is done, the action is barred.

State X, however, has a special statute of limitations for this type of claim which is part of a law creating a special cause of action for the recovery of stolen art work. Where a statute of limitations is specific to a particular kind of claim and was created by the law that created the cause of action to which it applies, courts will often characterize the statute of limitations as substantive. In such cases, a court may disregard its own statute of limitations and apply the foreign “substantive” statute of limitations, at least if the foreign law creating the cause of action will be used to determine other substantive rights in the case. This old doctrine (that statutes of

Federal Civil Procedure/Conflict of Laws Analysis

limitations are substantive when they go to the right and not just the remedy) was preserved in the Second Restatement of Conflict of Laws. *See* Restatement (Second) Conflict of Laws, § 143, and Restatement (Second) Conflict of Laws, § 142 (1988 revision). *See also* Uniform Conflict of Laws Limitations Act, 12 U.L. A. 61 (Supp 1992) (adopted in six states, this uniform act provides that the applicable limitations period should be that set by the state whose substantive law will be used to decide the case). However, this traditional rule may not lead to application of State X's statute of limitations, because the rule was traditionally applied only when the foreign statute of limitations BARRED an action otherwise timely under forum law, not when the foreign statute extended the period for bringing the action.

Instead of treating statutes of limitations as procedural or using the traditional right-remedy tort, some states use interest analysis to resolve choice of law issues, including statute of limitations issues. It is not clear what result is proper if interest analysis is used to determine the applicable statute of limitations in this case. On the one hand, State Y has a strong interest in applying its short statute to protect the interest of its resident (Collector) in repose and of its residents and courts in being free from stale claims. On the other hand, State X has a strong interest in its resident's ability to recover property stolen from it and in discouraging art theft by allowing the recovery of stolen art even years after the theft. The case is a true conflict. State Y could either apply its own law to resolve the conflict, or seek somehow to determine which state's interest should be honored in the case. In short, the outcome of interest analysis is uncertain.

COMMERCIAL PAPER ANALYSIS

(Commercial Paper II.H, IV.D)

ANALYSIS

Legal Problems:

- (1) What enforcement rights does Collection Agency have on the overdue note?
- (2) Can Investor raise Bank's failure to make a second loan as a defense to his obligation to pay the note?
- (3) Can Software raise Bank's failure to make a further loan as a defense to its obligation to pay the note?

DISCUSSION

Point One (30-35%)

Collection Agency is the holder of the note and is thus a "person entitled to enforce" it. Because the note was overdue on its face when Collection Agency acquired it, Collection Agency had notice that it was overdue and is not a holder in due course.

Because Collection Agency is in possession of a negotiable instrument (the note) payable to it by virtue of Bank's endorsement, Collection Agency is the holder of the note. UCC § 1-201(20). *See also* UCC § 3-201 (a) (negotiation of an instrument). As a holder of the note, Collection Agency is a "person entitled to enforce the instrument." UCC § 3-301. It is irrelevant that Collection Agency purchased the note for far less than its face amount.

Collection Agency is not, however, a holder in due course of the note. To be an HDC, Collection Agency must give value for the note in good faith and without notice of claims or defenses to the note. Collection Agency gave value for the instrument; \$ 150,000 is value, even though it is less than the face amount of the note. There is also nothing to suggest that Collection Agency did not act in good faith.

However, the note was overdue on its face. Thus, Collection Agency would be deemed to have had notice that the note was overdue at the time it took possession of the note. ("A person has 'notice' of a fact when... from all the facts and circumstances known to him at the time in question he has reason to know that it exists." UCC § 1-201 (25).) A person who takes an instrument with "notice that the instrument is overdue" cannot be a holder in due course. UCC § 3-302(a)(2)(iii). Thus, Collection Agency is not a holder in due course and can enforce the note only as a holder and by asserting whatever rights Bank had to enforce the note. (As a transferee from Bank, Collection Agency takes "any right of the transferor to enforce the instrument." UCC § 3-203(b).)

Point Two (30-35%)

Because Investor's agreement to undertake an obligation on the note was expressly conditioned on Bank's promise to make a further loan to Software and Bank breached that promise. Investor can raise that agreement as a defense to payment and is not obligated to pay the note.

By signing the note as co-maker, Investor became a maker or "issuer" of the note. An issuer is generally "obliged to pay the instrument... according to its terms at the time it was issued" to "a person entitled to enforce the instrument." UCC § 3-412. Thus, Investor has a general obligation to pay the note to Collection Agency, a person entitled to enforce it.

However, because Collection Agency is not a holder in due course, its right to enforce the obligation of Investor is subject to all of Investor's defenses, including any defenses stated in Article 3. *See* UCC § 3-305(a)(2). Article 3 includes a defense based on the separate agreement between Bank and Investor.

UCC §3-117 provides:

"[T]he obligation of a party to an instrument to pay the instrument may be modified, supplemented, or nullified by a separate agreement of the obligor and a person entitled to enforce the instrument, if the instrument is issued or the obligation is incurred in reliance on the agreement or as part of the same transaction giving rise to the agreement. To the extent an obligation is modified, supplemented, or nullified by an agreement under this section, the agreement is a defense to the obligation."

Here, Investor incurred an obligation on the note in reliance upon the agreement of Bank (a "person entitled to enforce the instrument" at the time it was issued) to make a further loan to Software if one became necessary. The case is similar to the situation discussed in comment 1 to UCC § 3-117 in which a co-maker on a note signs only on condition that the creditor seek another co-maker. UCC §3-117 effectively provides that the separate agreement "modifies the terms of the note by stating a condition to the obligation of [the Obligor] to pay the note." If the condition is not met, the Obligor is not obligated to pay the note to the original creditor or to any subsequent holder who is not a holder in due course. *See* comment 1, UCC § 3-117. Investor undertook the obligation as co-maker only on the condition that Bank would make additional loans up to \$250,000 if necessary to complete the project. Bank's failure to do so provides a defense to Investor against Bank and against subsequent holders without due course rights under both UCC §3-117 and UCC § 3-305(a)(2).

UCC § 3-117 is subject to state law regarding the exclusion of proof of contemporaneous or previous agreements. However, the problem states that applicable state law allows such proof.

Thus, Investor has a valid defense against payment of the note.

Point Three (30-35%)

Investor's defense to payment of the note is personal to Investor, and Software may not raise that defense against Collection Agency. Software does not appear to have any other defense and therefore must pay the note.

Investor's defense against payment of the note is not available to Software. Although Software may raise personal defenses, Software "may not assert against the person entitled to enforce the instrument a defense ... of another person." UCC § 3-305(c). Here, the agreement between Investor and Bank was kept secret

from Software until after it obtained the loan. It was not part of the inducement leading to Software's decision to incur the debt. Under the circumstances, any defense provided by that agreement is personal to Investor and cannot be raised by Software against a person entitled to enforce the instrument.

Software might claim that Bank acted in bad faith in refusing to make the separate loan and that Bank's bad faith is a defense that can be raised against Collection Agency, as a non-holder in due course. Certainly, Bank's refusal to make a second loan after promising that it would do so may be characterized as bad faith. However, any bad faith would be attributable solely to the fact that failure to make the loan was a breach of the agreement with Investor. There is no suggestion that failure to make a further loan was bad faith vis-a-vis Software. Furthermore, there is no hint that Software told Bank a second loan would be necessary or that Software acted in reliance on Bank's stated willingness to make further loans. To the contrary, Software believed that the initial loan was all that was necessary, and Bank apparently agreed with Software.

Thus, Software would not appear to have an independent defense to payment of the loan. Because it cannot raise Investor's defense to avoid its own obligation, Software is liable to Collection Agency on the note.

TRUSTS & FUTURE INTERESTS/DECEDENTS' ESTATES/ FAMILY LAW ANALYSIS

(Trusts & Future Interests I.B, I.C, II; Decedents' Estates III.B; Family Law III.D. III.E. III.F)

ANALYSIS

Legal Problems:

- (1) Does Wife's obligation to pay child support for Son survive her death?
- (2) Can a trust be imposed on a savings account that does not indicate that the depositor was acting as a fiduciary?
- (3) Does a decedent's obligation to transfer property to a former spouse pursuant to a divorce decree survive the obligor's death?
- (4) Do children living when a will is executed or born after the will is executed have a valid claim against their deceased parent's estate when they are not otherwise provided for in the will?

DISCUSSION

Point One (25-35%)

Obligations to pay child support usually terminate upon the death of either the child or the obligor. Wife's estate probably has no obligation to continue child support for Son.

Wife's obligation to support Son is based upon the divorce decree into which the separation agreement between Wife and Husband merged. As a general rule, parental support obligations do not survive a parent's death even when those obligations have been reduced to a specific sum pursuant to a divorce decree. *McKamey v. Watkins*, 257 Ind. 195, 273 N.E. 2d 542 (1971).

The children of divorced parents, however, have fared better than the children of ongoing marriages in some cases holding that the support obligation established by a divorce decree is *not* discharged by death. *Kujawinski v. Kujawinski*, 71 Ill. 2d 563, 376 N.E.2d 1382 (1978); (relying on Ill. Rev. Stat. ch. 40 § 510(c) (1977); *Silberman v. Brown*, 34 Ohio Op. 295, 72 N.E.2d 267 (Ohio Ct. Com. Pl. 1946).

The weight of authority, however, still holds that court-ordered child support payments do not survive the obligor parent's death.

Point Two (35-45%)

The evidence is insufficient to establish Wife's intent to create a trust for Son. While no specific words are necessary to create a trust, there must be some evidence of such an intent and no language in either the separation agreement, the decree into which it merged, or the name on the savings account indicates that Wife intended to create a trust.

In order to create a trust, the settlor must intend to create the trust. Restatement (Second) of Trusts, § 23. The language of the separation agreement and the decree into which it was merged is unclear regarding Wife's intent to create a trust of the amounts she agreed to "set aside" for Son. Furthermore, there are no words on the savings account registration evidencing that intent. Although no specific words are necessary to create a trust, there must be some evidence of an intent to create a trust at the time the funds were set aside to hold Wife to the obligations of a trustee. *Id.* at § 2; George Bogert, *Law of Trusts*, §11.

An argument can be made, however, that the two \$5,000 deposits into the savings account were actually held by Wife in trust for Son, particularly since they were made each year and no other deposits were made into the account. Cutting against this argument, however, is the fact that Wife withdrew \$ 1,200 from the savings account one month before she died. On the theory that Wife would not intentionally withdraw monies that were not hers, this may evidence an intent on her part not to have created a trust. On the other hand, if the money was intended to be held in trust for Son's college education, Wife's withdrawal would be a breach of trust for which her estate would be liable to Son. In addition, the entire balance in the savings account remaining at Wife's death would belong to Son.

It might also be argued that Wife held the funds in a constructive trust for Son on the theory that Wife promised to formally create a trust and she should be held to that promise. The facts do not support this interpretation because the separation agreement made no reference to the creation of a trust.

Point Three (15-25%)

Property division obligations incident to a divorce remain enforceable against a deceased obligor's estate. If Wife's obligation to transfer \$20,000 annually to Husband for five years is considered a division of property, Wife's estate is liable for both the \$20,000 past-due amount and the \$60,000 in future payments that Wife was ordered to pay Husband.

In some jurisdictions, money awarded to a spouse who supported a former spouse while he or she earned a graduate degree is considered, in essence, a property division. *Haugan v. Haugan*, 117 Wis.2d 200, 343 N.W.2d 796 (1984). Unpaid property division obligations are treated like other creditors' claims against a decedent's estate. If Husband's right to the five \$20,000 payments are unpaid property division claims, then Husband is entitled to receive \$80,000 from Wife's estate.

In other jurisdictions, the award is called "reimbursement alimony." *See Mahoney v. Mahoney*, 91 N.J. 488, 453 A.2d 527 (1982). Depending upon the terms of the court decree, an award of reimbursement alimony may terminate on the obligor's death.

Point Four (15-25%)

Son is not entitled to a share of Wife's estate because he was alive when Wife's will was signed and, therefore, was not unintentionally omitted from Wife's will: Daughter, an after-born child, is deemed to have been unintentionally omitted from the will and may be entitled to a share of Wife's estate. Son may also have claims arising from Wife's obligation to set aside funds for Son's college education.

Trusts & Future Interests/Decedents' Estates/Family Law Analysis

Under the Uniform Probate Code, only an after-born child unintentionally omitted from a parent's will may claim his or her intestate share of the decedent's estate, but not if the deceased parent's will gives substantially all of the estate to that child's other parent. UPC § 2-302(a)(1). Therefore, under the Uniform Probate Code, Son can claim nothing from Wife's estate because he was alive when Wife signed the will; Daughter can claim nothing from Wife's estate because Wife willed her entire estate to Daughter's other parent, New Husband.

In many states, however, an after-born child is entitled to a share of the deceased parent's estate (generally equal to what that child's intestate share would have been if the parent had actually died intestate) even though the parent willed all or substantially all of her estate to the surviving parent of the child absent evidence of an intent to disinherit the after-born child. *See, e.g.*, I.C. § 633.273. In such states, Daughter would be entitled to a share of Wife's estate since Wife's will was silent on whether Daughter was intentionally disinherited.

In a few states, even a child alive when the will was signed may be entitled to a share of the deceased parent's estate on the theory that the child was unintentionally omitted from the will. *See, generally*, W. McGovern, S. Kurtz & J. Rein, *Wills, Trusts, and Estates* § 3.6 (1988).

If, pursuant to Point Two, a trust was created for Son such that Wife's \$1,200 withdrawal was a breach of trust, Son would also have a claim for \$1,200 against Wife's estate. Furthermore, Wife's estate may be liable to Son for Wife's unfulfilled promise to set aside \$5,000 annually for ten years to finance Son's education unless the promise is in the nature of child support which terminates at Wife's death. (See Point One).

July 1997 MEE

► *ANALYSES*

*Agency & Partnership
Trusts*

Commercial Paper/Secured Transactions

Family Law

Federal Civil Procedure

Corporations

Decedents' Estates

AGENCY & PARTNERSHIP ANALYSIS

(Agency & Partnership I, II.A, II.B, II.C, V, VI.A, VII, IX.A)

ANALYSIS

Legal Problems:

- (1) Was a general partnership created by the investors when they formed Central Subs?
- (2) What principles of agency and partnership law support Karly's claim for damages against Central Subs and the investors for Sam's negligence?
- (3) Under what principles of agency and partnership law did Sam's order from Meatco bind Central Subs and the investors?
- (4) Does the dissolution of the partnership affect Pat's ability to hold Central Subs and the investors liable for Sam's negligence?

DISCUSSION

Point One (15-25%)

The three investors created a general partnership by agreeing to share control and the profits of their business.

The facts do not indicate whether Laura, Tammy, and Sam intended to form their venture as a general partnership. However, no intent to form a partnership need be expressed for a partnership to be created. In most jurisdictions, the governing statute is the Uniform Partnership Act (UPA), which defines a partnership as "an association of two or more persons to carry on as co-owners a business for profit." UPA § 6(1). The key elements are the parties' agreement to share profits and control. Here both elements are present. Sharing of control is evidenced by Sam being charged with managing the business, while Laura and Tammy have the power to veto expenditures over \$500. The facts specify that profits and losses are to be shared equally. UPA § 7(4) makes the sharing of profits prima facie evidence of the existence of a partnership. Therefore, the arrangement among Laura, Tammy, and Sam was a general partnership.

Point Two (15-25%)

Karly has a valid claim against (a) Central Subs, since Sam was a partner acting in the ordinary course of the partnership's business and (b) each of the investors, since a partner in a general partnership is jointly and severally liable for any wrongful act of a partner in connection with the partnership.

Karly was injured as a result of Sam's negligence in cleaning the bathroom, which was part of his managerial duties for Central Subs. A partnership is liable for the wrongful acts or omissions of any partner acting in the ordinary course of the partnership's business or with the authority of the other partners to the same extent as the acting partner is liable. UPA § 13. Sam was clearly acting in the ordinary course of business and with the authority of Laura and Tammy when cleaning the bathroom. Since the facts state that Sam acted negligently and therefore would be personally liable to Karly, the principles of partnership law allow Karly to recover damages from Central Subs as well.

Agency & Partnership Analysis

In addition, UPA § 15(a) makes the individual partners jointly and severally liable for all obligations of the partnership arising under UPA § 13. *See also* Paracano v. Gray, 120 Or. App. 670, 870 P.2d 837 (1994), which relies on Kneeland v. Shrover, 214 Or. 67, 328 P.2d 753 (1958) for the rule that the failure to disavow an agent's acts by the principal is considered an affirmation of such acts under the common law. Consequently, Laura, Tammy, and Sam are each personally liable to Karly.

The UPA does not require that a plaintiff exhaust the partnership assets before making a claim against one or more partners individually. However, the Revised Uniform Partnership Act (RUPA) adopted in a few jurisdictions, specifically states that a judgment against a partnership can be satisfied from the personal assets of a partner only if the partnership has failed to satisfy the judgment or is in bankruptcy or if the liability would have been imposed on the partner regardless of the existence of the partnership. RUPA § 307. Under the RUPA, Karly would have to make a claim and obtain a judgment against Central Subs which was unpaid before she could look to the personal assets of Laura or Tammy. Since Sam would have been liable to Karly for his own negligence even if no partnership existed, Karly could immediately seek to recover her damages from Sam's personal assets as well as the partnership's.

Under principles of contribution, if Karly recovered the full amount of her damages from either Laura or Tammy individually, either under the UPA, the RUPA, or the common law, the paying partner would be entitled to payment from the other two partners for their proportional share of the damages.

Point Three (20-30%)

Sam's order from Meatco binds Central Subs both under the UPA and under the common law because he had either apparent authority or incidental authority.

Under the UPA, the act of every partner apparently carrying on the ordinary business of the partnership binds the partnership unless (A) the partner has no such authority and (B) the person doing business with the partnership knows that the partner has no such authority. UPA § 9. Sam purchased the meat in the ordinary course of the partnership's business. However, Sam violated the investors' agreement by ordering more than \$500 worth of meat without getting the approval of Laura and Tammy. Since Sam ordered the meat from a store that had not done business with Central Subs before, Meatco had no way of knowing of any limitations on his authority. The partnership is therefore bound and Meatco can recover the amount of its bill from Central Subs.

Under the common law, there are two possible alternative theories under which Central Subs would be liable for Sam's meat order: apparent authority and incidental authority. Apparent authority is authority of an agent not actually possessed by that agent but of the type that the principal holds the agent out as having. *See* Sanborn v. Maryland Casualty Co., 255 Iowa 1319, 125 N.W. 2d 758 (1964). Sam arguably had apparent authority to order the meat because Meatco knew from seeing the promotional flyers that Sam was an owner of Central Subs, and the purchase of \$600 worth of meat would seem to be an action that an owner generally would have the authority to take. Reuschlein & Gregory, The Law of Agency and Partnership (2d. 1990), at § 23. *See also* East Girard Savings & Loan Ass'n. v. Houlihan, 373 Pa. 578, 97 A. 2d 23 (1953).

Incidental authority could also apply to bind Central Subs for the meat purchase because under this doctrine Sam had authority to take action that a reasonable person in the principal's position should have foreseen the agent would be likely to take, even though the action would be contrary to the agent's instructions. Eisenberg, Introduction To Agency and Partnership (1987), at 16. Here Sam responded to an emergency at

the store by ordering more meat, an act which should have been foreseeable. The only issue is the foreseeability of ordering more than \$500 worth of meat. Despite the issue of foreseeability of the amount of meat ordered, a court would likely hold Central Subs liable for Meatco's bill under this agency theory.

To the extent that Central Subs is liable to Meatco under either the UPA or common-law agency analysis discussed above, each of the partners will be jointly and severally liable for this debt. UPA § 15(a).

Point Four (20-30%)

Laura and Tammy have dissolved the partnership, which leads to a winding up of the partnership business. The partners have authority to conduct old business as part of the winding up process. Sam is completing old business by acting on the instructions of his former partners to drop off Central Subs' property, even though he is no longer working in the store. Therefore, the partnership is liable to Pat for Sam's negligence.

Laura and Tammy's actions to close down Central Subs effectively dissolved the partnership. UPA §§ 29 and 31 (l)(b). However, dissolution does not terminate the partnership, which continues until the winding up of the partnership's affairs is finished. UPA § 30. Winding up generally includes completion of old business of the partnership, collection of monies owed to the partnership, payment of partnership debts, and distribution of assets to the partners. *See Ellebracht v. Siebring*, 525 F.Supp. 113, (W.D.Mo. 1981), affirmed 676 F.2d 706 (8th Cir.1982). One item of old business is that Sam return all of Central Subs' property to the store as instructed by Laura and Tammy, his former partners.

The general rule is that dissolution of a partnership terminates all authority of a partner, vis-a-vis the other partners, to act for the partnership. UPA § 33. However, there is an exception where a partner takes action in connection with the winding up of the partnership. UPA § 33. In addition, after dissolution a partner can bind the partnership to a third party in connection with such partner's activities to wind up the partnership. UPA § 35(l)(a). Since Sam's trip back to the store was part of the winding up of the partnership as expressly authorized by the other investors, he was acting in his capacity as a partner when he injured Pat. As a result, Central Subs will be liable for Sam's wrongful act or omission even though a dissolution has occurred. UPA § 13. To the extent that Central Subs is liable under UPA § 13, each of the investors will also be individually liable (jointly and severally) to Pat under UPA § 15(a). Furthermore, the fact that the partnership has been dissolved does not affect the existing liabilities of the investors. UPA § 36.

TRUSTS ANALYSIS

(Trusts I.C)

ANALYSIS

Legal Problems:

- (1) Is the Smith Trust a valid charitable trust?
- (2) Did the Smith Trust fail as a result of the closing of Education College, and if so, how should the assets of the Smith Trust be distributed?
- (3) Was the bequest in Testator's will sufficient to pour over Testator's estate assets into the Smith Trust?
- (4) If the Smith Trust failed, should the *cy pres* doctrine be applied to save Testator's bequest, and if so, how should the money be distributed?

DISCUSSION

Point One (20-30%)

The Smith Trust was a valid charitable trust.

A trust for the advancement of education is a charitable trust (Restatement, Second, Trusts, § 370). A trust to establish scholarships is a trust for the advancement of education (Id., comment (a)), even if the scholarship is open only to a limited class of potential beneficiaries. If, on the other hand, the persons who are to benefit from a trust are "not of a sufficiently large or indefinite class so that the community is interested in the enforcement of the trust," the trust is not charitable (Restatement, Second, Trusts, § 375). In this case, the gift, as amended, to "Presbyterian children" is probably a sufficient description of a class to qualify the Smith Trust as a charitable trust as such class is not so narrow as to violate the rule of Restatement § 375. Generally, a trust whose potential beneficiaries are employees of a corporation is sufficiently broad to qualify as a charitable trust if its purposes are otherwise charitable (see id., Comment (g)). Moreover, Smith Corporation has thousands of employees. There is no reason to assume that the religious restriction unduly narrows the potential beneficiaries. Therefore, the trust is charitable and governed by the law of charitable trusts.

Point Two (20-30%)

The closing of Education College caused the Smith Trust to fail because Smith did not have a general charitable intent. This results in a reversion of the trust principal to Smith's estate as expressly provided by the terms of the trust.

Section 401(1) of the Restatement, Second, of Trusts, provides that when, by the terms of a charitable trust, the trust is to terminate upon the happening of a specified event, then the trust will terminate on the occurrence of that event unless the termination provision is invalid. In this case, Smith expressly provided that the trust was to terminate if, for any reason, Education College should cease operations and that upon such termination the trust property should revert to Smith. Since Education College ceased operating as a

four-year college, the trust terminated, and the trust property should be distributed to Harry, the sole successor to Smith's estate. The *cy pres* doctrine (Restatement, Second, Trusts, § 399) is inapplicable because Smith did not have a general charitable intent as evidenced by the express and rather specific terms of the trust. Upon termination, the trust principal reverts to Harry.

Point Three (25-35%)

The bequest in Testator's will to the Smith Trust fails.

Section 2-511 of the Uniform Probate Code provides that a will may validly devise property to a trust created either by testator or by another person, even if the trust is amendable or revocable. Moreover, Section 2-511 provides that unless the will provides otherwise, the property devised should be administered in accordance with the provisions of the trust instrument, including any amendments made before or after testator's death. In jurisdictions that have not adopted the Uniform Probate Code, the same conclusions are reflected in the 1991 version of the Uniform Testamentary Additions to Trusts Act. (A similar result could follow under the common law incorporation by reference doctrine, at least with respect to the terms of the trust in effect when testator signed his will.) However, if the trust terminates prior to the testator's death, the bequest lapses, UPC § 2-511(c). Since the Smith Trust terminated before Testator died, the bequest lapses.

Point Four (30-40%)

The *cy pres* doctrine should be applied to save Testator's charitable bequest for the benefit of the Smalltown Civic Corporation's scholarship program.

As discussed above in Point Two, the Smith Trust failed when Education College closed. Likewise, the bequest to the trust under Testator's will failed. (See Point Three). Nevertheless, with respect to Testator's bequest to the trust, the *cy pres* doctrine is applicable. The *cy pres* doctrine is applicable when property is placed in trust for a charitable purpose that has become impossible to effectuate, and where testator has manifested a general intention to devote the property to charitable purposes. (Restatement of Trusts, Second, § 399). Testator exhibited a general charitable intention by giving reasons for limiting the share of the estate to go to Able, and by omitting any reverter clause to take effect if the charitable bequest were to fail. *Compare, e.g. Trammel v. Elliott*, 230 Ga 841.199S.E.2d 194(1973) (*cypres* applied; no reverter clause in will) with *Simmons v. Parsons College*, 256 N.W.2d 225 (Iowa 1977) (*cy pres* not applied because will included reverter clause). Although Able might argue that Testator's charitable intent was limited to schemes involving only Education College, Testator's expressed desire to assist people of "diverse backgrounds" should be sufficient, in the absence of any reverter clause, to establish a general charitable intent. Thus, the bequest should be saved for the benefit of another charity; Able should not be entitled to the bequest.

In determining which charity should receive the bequest, the court will seek to effectuate Testator's wishes as closely as possible. *See* Bogert, Trusts [6th ed.], § 147, at 521,526. Where Testator expressed an interest in benefiting a diverse group of students, the court would be unlikely to award the property to the Smith Trustee, who would be required by the terms of the amended trust instrument to limit beneficiaries to Presbyterian children of Smith Corporation employees. Instead, the court would more likely award the property to the Smalltown Civic Corporation, whose beneficiaries would be more likely to exhibit the diversity sought by Testator and, thus, would more likely carry out Testator's intent.

COMMERCIAL PAPER/SECURED TRANSACTIONS ANALYSIS

(Commercial Paper III.A, IV.A, IV.B; Secured Transactions IV.B, IV.C)

ANALYSIS

Legal Problems:

- (1) (a) Was Edwin a “holder” of Bart’s note?
 (b) Was Edwin a “holder in due course”?
- (2) Does Cathy’s 21-day temporarily perfected security interest in the note prevail over Edwin’s claim to the note?

DISCUSSION

Point One(a) (35-45%)

Edwin, as a “holder,” was a “person entitled to enforce” Bart’s note.

Edwin’s claim for enforcement of the note will be based on Bart’s obligation as a maker (issuer) under UCC § 3-412, which states that “the issuer... is obliged to pay the instrument (i) according to its terms... at the time it first came into possession of a holder”

Because holders may enforce payment, see UCC § 3-301, it must first be determined whether Edwin is a “holder” of the instrument. A “holder” is one “who is in possession of an... instrument... drawn, issued, or indorsed to him or his order or to bearer or in blank.” UCC § 1-201(20). Since Alice had indorsed the note prior to the theft, the note at that time was converted to bearer paper under UCC § 3-205(b), and could be negotiated by delivery alone. Dan, as a possessor of bearer paper, was a “holder” capable of indorsing under UCC § 3-204(a), although delivery alone was sufficient for Dan to negotiate the instrument to Edwin. Dan’s delivery constituted a valid negotiation to Edwin and, since there is no break in the necessary chain of indorsements from Alice to Edwin, Edwin is a holder. UCC § 3-202(a), § 3-205(b).

Point One(b) (35-45%)

Edwin, who took without notice of how Dan had acquired the note, was a “holder in due course.” Accordingly, Bart cannot raise the personal defense of failure of consideration against Edwin.

If Edwin is merely a “holder,” Bart may raise any defenses he may have, including the defense that the piano was worthless. UCC § 3-305. However, if Edwin is a holder in due course, Bart may raise only the so-called “real defenses” enumerated at UCC § 3-305(a)(1) (i.e., infancy of the obligor, duress, illegality, fraud, etc.).

A holder in due course is a (i) holder (ii) who takes an instrument (iii) for value, (iv) in good faith, and (v) without notice that it is overdue or has been dishonored or of any defense or claim to it on the part of any person. UCC § 3-302(a)(2). Edwin is a “holder” as discussed above. He took an “instrument” which, at the time he took it, had no apparent evidence of forgery or alteration. UCC § 3-302(a)(1). The facts state that Edwin took the note without notice of how Dan had obtained it. Finally, nothing in the facts indicates that

Edwin was on notice that the instrument was overdue or had been dishonored, or of may defense *at* claim to it Therefore, Edwin is most likely a holder in due course.

Bart's defense is a garden variety "failure of consideration" persona] defense which cannot be raised against a bolder In due course. UCC § 3-305(b). The facts, do not indicate that Alice committed the sort of essential fraud" that would constitute a real defense under UCC § 3-30S(a)(l). Thus, Bart cannot raise his personal defense against Edwin when Edwin seeks to enforce the note.

Point Two (10-20%)

Cathy's automatic 21-day temporarily perfected security interest in the note does not prevail over the interest of a holder in due course such as Edwin.

Ordinarily, Cathy would have to take possession of the instrument in order to perfect her security interest in it. UCC § 9-304(1). However, lo the extent that new value is given under a written security agreement, which appears to be the case here (i.e., the £2, 500 loan to Alice), Cathy's security interest in the note is temporarily automatically perfected without filing or possession for a period of 21 days. See UCC 5 9-304(4). Thus, Cathy's security interest was perfected at the time Edwin received the note.

However, under UCC § 9-309, a holder in due course of an instrument takes priority "over earlier .security interests even though perfected." Thus, regardless of whether Cathy's security interest is perfected, Edwin, as a holder in due course (discussed above), will take priority under UCC § 9-309.

FAMILY LAW ANALYSIS

(Family Law I.D, IILA, IILB)

ANALYSIS

Legal Problems:

- (1) Are parties who agree to participate in a wedding ceremony validly married for purposes of spousal support duties if they do not intend to assume all the incidents of marriage?
- (2) Under the common law necessities doctrine or a family expense statute, is a wife obligated to pay for her husband's emergency medical care before the provider has attempted to secure payment from the husband or his estate?
- (3) Is a premarital agreement between spouses that they will not be financially responsible for the support of each other enforceable and binding on third parties?

DISCUSSION

The facts give no basis for finding that Bonnie entered into a contract with Hospital to pay for Al's care. She may, however, be liable because of her status as Al's wife and because of her spousal support duties. Thus, the first question is whether she and Al will be treated as married for these purposes. If not, Bonnie is not liable. If they were married, Bonnie may be liable under the common law necessities doctrine or a statutory alternative, such as a family expense statute. If Al and Bonnie were married, their agreement eliminating their duties to support each other may be unenforceable as contrary to public policy. Even if the agreement would be enforceable as between them, it is not binding on Hospital, which was not a party to the agreement.

Point One (35-45%)

Whether Al and Bonnie will be regarded as married for purposes of spousal support duties when they entered into the marriage only to give Al the immigration status of a spouse depends on how the court interprets "consent to be married."

Consent of the parties is a prerequisite to a valid marriage. Bonnie and Al consented to some aspects of marriage—participation in the wedding ceremony and representing themselves as spouses to immigration authorities. As evidenced by their written agreement, however, they did not agree to the other conventional aspects of marriage, such as emotional and sexual fidelity, economic interdependence, and commitment to the relationship. The problem, therefore, is the legal effect of a "limited purpose" marriage. *See* Homer H. Clark, Jr. The Law of Domestic Relations in the United States § 2.16 at 121 (Student ed. 1988).

While it would be possible to interpret the consent requirement as applying only to participation in the wedding ceremony, courts do not take this approach. Instead, they consider what policies would be advanced or impeded by treating parties as married in a particular case. *Id.*

A court taking the traditional approach would treat Al and Bonnie as married because they participated in a valid ceremony and sought to obtain at least some of the benefits of marriage. The argument supporting this approach is that parties should not be able to pick and choose which aspects of marriage they want because

this would undermine the state's interests in determining the legal consequences of marriage. *See, e.g., Lester v. Lester*, 87 N.Y.S.2d 517 CN.Y. Dom.Rel. 1949); *Schibi v. Schibi*, 69 A.2d 831 (Conn. 1949). Under this approach, Al and Bonnie were married for all purposes.

The other major approach is to conclude that the parties are married only if they intended to take on the "usual obligations" of marriage. *See, e.g., Faustin v. Lewis*, 85 N.J. 507,427 A.2d 1105 (1981) (granting an annulment on facts similar to question). The theory underlying this approach is that no good purpose is served by treating people as married if they have not taken on the commitments of marriage. Under this approach, Bonnie would argue that she did not intend to be married in the conventional sense.

Hospital would make several arguments against using the "intent to take on usual marital obligations" analysis, which would result in a conclusion that Al and Bonnie were not married. First, since intent is subjective, it may be hard to determine after the fact what the parties' intent was, though here Al and Bonnie's written agreement provides evidence of their intent. Second, determining what the "usual obligations" of marriage are is a problem. People who consider themselves married do not all live their lives in the same way, and some courts have suggested that a rule purporting to prescribe how married people must act might well violate the right to family privacy protected by the due process clause. *See, e.g., Bark v. INS*, 511 F.2d 1200 (9th Cir. 1975). *See also Manwani v. INS*, 736 F. Supp. 1367 (W.D. N.C. 1990) (certain portions of federal immigration law on the status of spouses unconstitutionally intrude on the right to marry); *but see Azizi v. Thornbure*, 908 F.2d 1130 (2d Cir. 1990); *Anetekhai v. INS*, 876 F.2d 1218 (5th Cir. 1989), both upholding the law, based on Congress's plenary authority over immigration matters. Third, even if the court settled on a paradigm of how married people usually behave, the evidence here is conflicting. Al and Bonnie shared a household, shared expenses to a limited extent, were fond of each other, and their written agreement indicates they thought they had to divorce to be unmarried. On the other hand, their economics were not fully integrated, and they did not have sexual relations.

Point Two (35-45%)

If Al and Bonnie were married, Bonnie would probably be liable for Al's medical expenses under the necessities doctrine or a family expense statute.

At common law, husbands were legally responsible for supporting their wives. This duty could be enforced under the necessities doctrine. Clark, *supra* § 6.3 at 265. This doctrine allows a wife to purchase goods or services on credit and charge them to her husband. The creditor who furnishes "necessaries" to a wife may recover the fair market value of the goods or services from the husband even if he did not enter into a contract to pay for them or otherwise authorize her to pledge his credit. A "necessary" item is something suitable to the parties' station in life. Medically necessary care generally is considered to be within the support duty. *See, e.g., Greenspan v. Slate*, 12 N.J. 426,97 A.2d 390 (1953), (parent liable for a child's medical bills under the necessities doctrine).

At common law, only husbands had spousal support duties; wives did not. Modern cases and statutes, however, generally recognize that spouses have mutual support duties. Clark, *supra* § 6.1 at 251. *But see Shands Teaching Hospital and Clinics, Inc. v. Smith*, 497 So.2d 644 (Fla. 1986) (upholding the traditional necessities doctrine against an equal protection attack).

Those courts which have held that the traditional necessities doctrine cannot survive in the modern era of formal gender equality differ about whether a creditor may seek payment for necessities from either spouse. In a few states, courts have abolished the necessities doctrine in response to the equal protection challenge. *See, e.g., Condore v. Prince George's County*, 289 Md. 516,425 A.2d 1011 (1981); *Schilling v. Bedford*

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County Memorial Hospital Inc., 225 Va. 539, 303 S.E.2d 905 (1983). In those states, Hospital would not have a common law remedy against Bonnie.

Most states, however, have retained the necessities doctrine but modified it. In some states a creditor may sue either spouse or both, e.g., North Carolina Baptist Hospitals v. Harris, 319 N.C. 347, 354 S.E.2d 471 (1987). In such a state Bonnie would be liable, regardless of the solvency of Al's estate. In other states wives are only secondarily liable for necessities supplied the other spouse, e.g., Marshfield Clinic v. Discher, 105 Wis. 2d 506, 314 N.W.2d 326 (1982), and in some states a creditor must first seek payment from the spouse who incurred the obligation, e.g., Jersey Shore Medical Center-Fitkin Hospital v. Baum's Estate, 84 N.J. 137, 417 A.2d 1003 (1980). In either of the latter two kinds of states, Hospital could not sue Bonnie until its efforts to collect from Al's estate proved unsuccessful.

About 20 states have family expense statutes making both spouses liable for the expenses of the family. Clark, *supra*, § 6.1 at 257. Medical care would be such an expense. Under this kind of statute Bonnie would be liable.

Point Three (15-25%)

Under the majority view, spouses may not contract to eliminate fundamental marital duties, including support duties during marriage. Further, an agreement to allocate financial responsibilities between spouses is not binding on third parties.

Premarital contracts are covered by the Statute of Frauds and so must be in writing to be enforceable. 29 Car. II. c. 3 (1677); Uniform Premarital Agreements Act § 2. The contract between Al and Bonnie was in writing. Modern courts and statutes also require either that the terms of the agreement not be unconscionable or that the spouses have made adequate disclosures to each other before entering into the agreement. *See, e.g.*, Uniform Premarital Agreements Act § 6. On this basis a court might find the agreement to be unenforceable, since there is no indication that Al and Bonnie disclosed their finances to each other. On the other hand, under the circumstances a court might find the terms of the agreement to be not unconscionable because the bargaining process was fair, and the relationship of Al and Bonnie was unconventional.

However, there are limits on spouses' ability to enter into legally binding agreements to alter their marital obligations. Under the modern view, the spouses' ability to define the terms of their relationship is much greater than in earlier times, but courts frequently still do not enforce agreements to limit the spouses' support duties during marriage. *See, e.g.*, Graham v. Graham, 33 F. Supp. 936 (E.D. Mich. 1940); In re Marriage of Mathiasen, 268 Cal. Rptr. 895 (Cal. App. 1990) (contract to share expenses equally void as effort to alter statutory duty of support). Therefore, a court might refuse to enforce Al and Bonnie's agreement that they would not be liable for each other's bills.

Even if the agreement were enforceable as between Al and Bonnie, it probably is not binding on Hospital. The obligation to pay creditors imposed by the necessities doctrine or family expense statutes is not contractually based but arises by operation of law, and it cannot be altered by a contract to which the creditor is not a party.

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure IA, IV.B)

ANALYSIS

Legal Problems:

- (1) Were the requirements for federal diversity jurisdiction satisfied in this case, even though the plaintiff sued in a federal district court in his home state and, subsequent to filing the complaint, moved so as to become domiciled in the same state as defendant?
- (2) In a diversity case in which both the meaning and the constitutionality of a new state statute are challenged, should a federal district court stay the case to allow the courts of the state an opportunity to rule on the statute's meaning and thereby possibly render the constitutional issue moot?

DISCUSSION

Point One (45-55%)

Because plaintiff Parker was a citizen of a different state than defendant Acme when the complaint was filed and the amount in controversy exceeds \$75,000. Parker properly invoked federal diversity jurisdiction, which is not defeated by the fact that the suit was filed in a federal district court in his home state, nor by the fact that he later moved to State B where Acme is also deemed to be a citizen.

The court should deny the defendant's motion to dismiss for lack of subject matter jurisdiction. The requirements for federal diversity jurisdiction have been established in this case. Parker's complaint does not state a claim arising under the Constitution or laws of the United States, 28 U.S.C. § 1331, so the federal court's jurisdiction must be based upon diversity of citizenship. The plaintiff and defendant must be citizens of different states. 28 U.S.C. § 1332(a)(1). For purposes of diversity jurisdiction, Parker was a citizen of the state in which he was domiciled when the complaint was filed, State C, and Acme is deemed a citizen of the state in which it is incorporated, State A, and the state in which it has its principal place of business, State B. 28 U.S.C. § 1332(c).

For federal diversity jurisdiction, the amount in controversy must exceed \$75,000, exclusive of interests and costs. 28 U.S.C. § 1332(a). The amount in controversy is generally measured by the amount claimed in apparent good faith on the face of the complaint, St. Paul Mercury Indemnity Co. v. Red Cab Co. 303 U.S. 283 (1938), which in Parker's case exceeds \$75,000.

It is sometimes said that the purpose of diversity jurisdiction is to protect out-of-state litigants from local prejudice. However, the constitutional language authorizing diversity jurisdiction and the statutory language implementing it allows a plaintiff to invoke original federal jurisdiction based upon diversity of citizenship not only in the state where the defendant resides but also where the plaintiff resides. 28 U.S.C. § 1332. Accordingly, the first ground of Acme's attack on subject matter jurisdiction is without merit. Acme's argument on this point confuses the requirements for original federal jurisdiction with the requirement for removal jurisdiction; for the latter, only a non-resident defendant may remove a state action to a federal court based upon diversity of citizenship. 28 U.S.C. § 1441(b).

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If Parker had been domiciled in State B at the time suit was filed against Acme, the requirement for original federal diversity jurisdiction would not have been satisfied. However, it is well settled that the determination of whether there is diversity of citizenship is made as of the date the suit is filed. Morgan's Heirs v. Morgan, 15 U.S. 290 (1817). If there is diversity jurisdiction on that date, it will not be lost or divested by later events, such as the acquisition of a common domicile by plaintiff and defendant. On the date Parker's suit was filed, plaintiff Parker was a citizen of State C, and corporate defendant Acme was a citizen of States A and B. At that time, Parker's citizenship was different from either of Acme's dual citizenships. Therefore, plaintiff's motion to dismiss for lack of subject matter jurisdiction should be denied.

Point Two (45-55%)

Because the state courts of State C may interpret the Unfair Trade Practices Act (UTPA) either to deny Parker standing to sue for the UTPA violation, or to exclude Acme's ad campaign from its coverage, and because either interpretation would moot the constitutional issue raised by Acme, the federal district court should abstain from deciding either of these issues until the State C courts have an opportunity to resolve the statute's meaning.

Because this case is before the federal district court for State C by virtue of its diversity jurisdiction, the court is required by the Erie doctrine to apply the substantive law of State C, whose statutes have created any cause of action that Parker may have. Although it is clear that State C substantive law governs this case, it is unclear what that substantive law is. This happens frequently in diversity cases, and the normal procedure is for the federal district court to go forward, do its best to divine what the state law is, and decide the case. The leading decision is Meredith v. Winter Haven, 320 US 228 (1943), in which the court stated:

Congress having adopted the policy of opening the federal courts to suitors in all diversity cases involving the jurisdictional amount, we can discern in its action no recognition of a policy which would exclude cases from the jurisdiction merely because they involve state law or because the law is uncertain or difficult to determine.

Only in rare instances (e.g., eminent domain cases where an important state interest is also involved in the ultimate decision) should a federal judge abstain from deciding a diversity case simply because the applicable state law is unclear. Chemerinsky, Federal Jurisdiction § 12.2.2 at 698 (1989).

However, in this case there are two reasons why it is appropriate for the court to grant the motion for a stay and postpone deciding the case. The best argument for a stay is under the well-established Pullman abstention doctrine. Under that doctrine, "if there are unsettled questions of state law in a case that may make it unnecessary to decide a federal constitutional question, the federal court should abstain until the state court has resolved the state questions." Wright, Miller & Cooper, Federal Practice & Procedure: Jurisdiction 2d § 4241 (1988). See Railroad Commission of Texas v. Pullman Co., 312 U.S. 496 (1941). The facts of this question present a pristine case for application of the Pullman abstention doctrine. If the federal court goes forward with the case, it may decide that Parker has standing to sue under the state statute and that Acme's ad campaign violates the statute. It would then be required to evaluate the constitutionality of the statute. If, on the other hand, it waits for the State C Supreme Court's interpretation of the statute, that Court may decide that only customers or competitors of the defendant have standing to sue under the state UTPA. In that case, Parker would have no standing and the federal court could dismiss his claim without reaching the question of the constitutionality of the state statute. Thus, by granting a stay, the court may avoid unnecessarily deciding a federal constitutional question. A stay should therefore be granted.

A second reason for granting a stay in this case is that state law is unclear AND there is a state action pending which may result in a clarification of the law. As noted above, mere difficulty or uncertainty in interpreting state law is NOT an adequate basis for a federal court to stay its hand in a diversity action. However, abstention in private litigation to avoid deciding difficult questions of state law IS regarded as proper when “the federal court merely postpones decision for a time to await an opinion of the state court in an action already pending.” Wright, Miller & Cooper. Federal Practice & Procedure: Jurisdiction 2d § 4246 (1988).

In the instant action, the proper course for the federal district court is to stay Parker’s case. The State C Supreme Court may then decide the case pending before it in a way that would deny Parker’s standing to sue under the UTPA. This would moot the constitutional issue. In addition, the newly-enacted State C statute is unclear and an action which will clarify it is currently pending before the State G Supreme Court. Those facts also would support a postponement of the federal action.

CORPORATIONS ANALYSIS

(Corporations VA, VI.A, VLB, X)

ANALYSIS

Legal Problems:

- (1) Does Lawrence have a claim against Chempro, Paula, Alan, Bruce, or Charles as a result of (a) his dismissal as a director, (b) his dismissal as an officer, or (c) the board's failure to investigate the claims against Paula?
- (2) Are the following claims by Lawrence derivative or direct claims:
 - (a) unlawful dismissal as a director
 - (b) failure to investigate the claim that Paula had stolen company property?
- (3) Is Lawrence required to make a demand on the board prior to bringing a derivative action or will he be excused from this requirement because the Chempro board of directors either is interested in the transaction or has breached its duty of care?

DISCUSSION

Point One (45-55%)

(a) Lawrence has a valid claim for unlawful dismissal as a director: (b) Lawrence does not have a valid cause of action for unlawful dismissal as an officer: and (c) Lawrence does have a valid claim for failure to investigate his claims against Paula.

The facts state that the State F corporations law and the Chempro articles and by-laws permit directors to be removed by the board without cause. Therefore, without other special circumstances, Lawrence would have no cause of action against either Chempro or the other shareholders resulting from his dismissal as director. However, Lawrence, Paula, Alan, Bruce, and Charles had entered into a shareholders' agreement which required each of the other shareholders to vote for Lawrence as director. A shareholders' agreement requiring the parties to vote for specified directors generally is enforceable and read to bar a vote to remove such directors, except for cause. Revised Model Business Corporation Act (RMBCA) §7.31; H. Henn & J. Alexander, Laws of Corporations, § 198 (3rd ed. 1986,1983). The shareholders' agreement created a binding contractual obligation on the other shareholders to vote for Lawrence as a director of Chempro. The board of directors vote by Paula, Alan, Bruce, and Charles to dismiss Lawrence as director was a breach of that shareholders' agreement. Since the board had not determined whether Paula's claims against Lawrence were true, they would not be entitled to terminate Lawrence for cause. Therefore, Lawrence has a claim against each of the other principal shareholders individually for breach of contract. The remedy may be either damages or specific performance of the shareholders' agreement. Id. at § 267 n.42.

Lawrence does not have a claim against either Chempro or the other principal shareholders as a result of his dismissal as an officer of Chempro. Generally, an officer is selected by the board of directors and may be removed by the board for any reason or for no reason. RMBCA § 8.43(b), and Henn at § 210. The primary exception, where the officer has been selected by the shareholders, does not apply here. Henn at § 210. Even where an officer has an employment contract with the company, the board retains the right to remove the officer. However, in that circumstance, the officer may have a breach of contract claim against the company.

RMBCA § 8.44(b), and Henn at § 210. The facts state that Lawrence did not have an employment agreement with Chempro. Chempro's articles and by-laws permit officers to be removed by the board without cause. The board acted within its rights when it dismissed Lawrence as an officer of Chempro.

Lawrence does have a valid claim arising from the board of directors' failure to investigate the claims against Paula. A director owes the corporation a fiduciary duty. This duty has been interpreted to mean that he must discharge his duties "in good faith, with the care an ordinarily prudent person in a like position would exercise under similar circumstances and in a manner he reasonably believes to be in the best interests of the corporation." RMBCA § 8.30(a). A director is entitled to rely on information from officers or employees whom he believes to be reliable. RMBCA § 8.30(b). However, a director is not acting in good faith if he has knowledge of the matter at issue which makes his reliance unjustified. RMBCA § 8.30(c). In general, the duty of care requires that a director take steps to become informed about the facts before taking any action. Henn at §234.

Here, the directors of Chempro have a fiduciary duty to investigate the claims made by both Paula and Lawrence since they each allege harm to the corporation. In this case, Paula clearly breached her fiduciary duties since she knew that the allegations against Lawrence were false. Alan, Bruce, and Charles also breached their fiduciary duties because they believed Paula's allegations and ignored Lawrence's conflicting claims without any supporting information. Failure to conduct an investigation into the truth of the matter is a breach of the directors' fiduciary duties. As a result, Lawrence has a claim against the directors for breach of their fiduciary duties.

Point Two (25-35%)

Lawrence's claim for removal as a director results from fee breach of the shareholders' agreement and is a direct claim against the shareholders who are parties to the shareholders' agreement. Lawrence's claim that Paula diverted corporate funds for her own personal use is a derivative claim because the claim alleges harm to the corporation.

When harm is done to the corporation, a shareholder may bring a derivative action on behalf of the corporation, with recovery going to the corporation. H. Henn & J. Alexander, Laws of Corporations §§ 358-360 (3rd ed. 1986,1983). A breach of the directors' fiduciary duties that depletes or diverts corporate assets and injures the corporation, including all of the shareholders, gives rise to a derivative claim. Id. Lawrence's claim that Paula diverted corporate assets for her own personal use would be a derivative claim because the harm from Paula's actions is damage to the corporation as a whole rather than to Lawrence individually.

By comparison, a wrongful act that does not deplete the corporate treasury or divert corporate assets but instead deprives a shareholder of a right to which his shares entitle him, or which is personal to the shareholder and not shared by other shareholders, gives rise to a direct claim. Henn, supra § 360. Lawrence's claim that he lost his job as a director is a claim for a violation of the shareholders' agreement. Lawrence's rights under the shareholder agreement are individual. Therefore, this claim should be brought against the other shareholders in their capacities as shareholders, that is, as a direct claim.

Point Three (20-30%)

Under RMBCA, demand would be required prior to commencing any derivative action. Under common law, demand is not required in this case because Paula is interested in the transaction and the other members of the board breached their duty of care by failing to investigate Lawrence's allegations against Paula. This

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creates a reasonable doubt that the board can fairly determine whether the corporation should pursue the case.

Shareholders who bring a derivative action are suing to enforce the corporation's rights when the corporation has failed to do so itself. Therefore, the shareholders must allege that they have made a demand on the corporation to file the suit. Henn, supra §§ 364-366.

The RMBCA requires that a shareholder make a written demand on the board in all circumstances before commencing a derivative action. RMBCA § 7.42. The shareholder must then wait 90 days after making the demand to file the derivative action, unless the board rejects the demand during the 90-day period. Id.

However, under the common law, demand need not be made when it would be futile to do so. Henn, supra § 365. To establish demand futility, it is insufficient for the shareholder to allege in a conclusory manner that the suit names all of the directors as defendants and that, therefore, they are incapable of considering the demand in a disinterested manner. However, if the shareholder can allege facts in its complaint that demonstrate a reasonable basis for the belief that the members of the board are interested in the transaction being challenged, or that they failed to exercise their duty of care in approving the matter at issue, that will be enough to show demand futility. Id.

Here Lawrence's claim is that the other board members did not investigate his charges that Paula was stealing corporate funds and instead accepted Paula's claim that Lawrence was responsible for the thefts without any investigation of the matter. At common law, this would probably be sufficient to excuse the making of a demand and Lawrence could immediately file his derivative action.

DECEDENTS' ESTATES ANALYSIS

(Decedents' Estates II.K)

ANALYSIS

Legal Problems:

- (1) Do the funds on deposit at First Bank in the name of "Decedent in trust for Grandchild" pass outside of the probate estate to Grandchild, or are they assets of Decedent's estate subject to the claims of Decedent's creditors?
- (2) Can Decedent's creditors reach the money in the joint bank account on the theory that the joint bank account was opened merely as a convenience to Decedent?
- (3) Can Decedent's creditors reach the diamond ring on the theory that Decedent did not effectively give it to Friend while Decedent was alive?

DISCUSSION

Point One (20-30%)

Decedent's creditors can reach First Bank "trust account" assets if the assets in her probate estate are insufficient to pay the claims against her estate.

A person may deposit funds in a bank in the form "A in trust for B" and create a so-called tentative trust account, bank account trust, or "Totten" trust (so named for the famous New York case that upheld the account against a challenge that it violated the policies underlying the statute of wills). *See In re Totten*, 179 N. Y. 112, 71 N.E. 748 (1904). These accounts are also recognized by statutes in many states. *See, e.g.*, Unif. Prob. Code §§ 6-201(8), 6-203.

The depositor is the sole owner of the account throughout his lifetime, absent clear and convincing evidence of a different intent. Unif. Prob. Code § 6-211 (b) Upon the owner's death, the remaining sums on deposit belong to the designated beneficiary. Unif. Prob. Code § 6-212(b). However, courts and statutes provide that if the depositor's probate estate is insufficient to pay claims against the estate, then the money on deposit in the trust account is available for the payment of claims. *See, e.g.*, Restatement of Trusts § 58(d); Unif. Prob. Code § 6-215(a). The right of creditors to reach the trust assets is justified on the ground that up until the moment of Decedent's death, Decedent had the unrestricted right to the use and enjoyment of the funds in the same manner as Decedent had with respect to other assets that would have been included in the Decedent's probate estate.

Point Two (30-40%)

Under the Uniform Probate Code the creditors of Decedent's estate can reach the money in the joint account if the other assets of the estate are insufficient to satisfy their claims. At common law the creditors cannot reach the joint account assets unless the joint account is opened for the depositor's convenience and no survivorship feature was intended.

Decedents' Estates Analysis

Under the Uniform Probate Code if a decedent's probate estate is insufficient to pay the claims of creditors, the creditors' claim to funds in a joint account is superior to the rights of the surviving joint tenant to the extent that the decedent deposited money into the joint bank account. Unif. Prob. Code § 6-215(a).

Absent such a statute, the surviving joint tenant of a joint bank account ("A and B as joint tenants with right of survivorship") ordinarily is entitled to the money in the account at the death of the first joint tenant, and the deceased depositor's creditors have no claim to the money. In some states the survivorship feature is conclusive. *See In re Estate of Gainer*, 466 So.2d 1055 (Fla. 1985). In others the survivorship feature can be avoided if fraud, duress, undue influence or mental incapacity is shown. *See Annot.* 43 A.L.R.3d 971 (1972). In these states and under the facts, Son is entitled to the account balance to the exclusion of Decedent's creditors.

Some courts have held that no right of survivorship is created if the evidence shows that the person who created the joint bank account did not intend the other person(s) named on the account to have a right of survivorship. The intent of the person creating the joint bank account is not self-evident from the form of registration "A and B as joint tenants with right of survivorship." The depositor may have intended that during their joint lives either was empowered to withdraw funds from the account with the survivor being entitled to the balance. This might be called a "true joint tenancy account." Alternatively, the depositor may have intended only that the survivor be entitled to the funds in the account at the depositor's death, but that the non-depositor have no right of withdrawal during the depositor's lifetime. This would be a pay-on-death account. Then again, the depositor may have intended that the non-depositor have the right to withdraw funds during the depositor's lifetime, but not be entitled to the funds on deposit at the depositor's death. This intent suggests the account was intended to be a mere agency account. *See generally*, Jesse Dukeminier & Stanley Johanson, *Wills, Trusts and Estates* 293 (4th ed. 1990). If an agency account was intended, then a court could hold that the survivor is not entitled to the funds in the account at the depositor's death. *Franklin v. Anna National Bank of Anna*, 140 Ill.App.3d 533, 488 N.E.2d 1117 (1986). Only on this construction of the depositor's intent would the funds in the account be an asset of the decedent's estate, subject to the claims of creditors.

Under the facts of the problem, it appears that at minimum the account was opened for Decedent's convenience and as a device to enable Son to reach the deposited funds. What is unclear, however, is whether Decedent intended Son to take the funds remaining in the account at Decedent's death as the "survivor." It might be inferred that Decedent had no such intent, based on the fact that the bank officer suggested the account as a vehicle to enable Decedent's child to obtain access to Decedent's money in case of Decedent's need. On the other hand, it is likely that Decedent would want Son to have these funds as a "reward" for taking care of Decedent in old age, perhaps even as a form of compensation for Son's time and expense in taking care of Decedent and assuring that Decedent did not have to go to a nursing home. Since there are no direct statements from Decedent that the survivorship feature was not intended, it is unlikely under either a preponderance of the evidence standard or a clear and convincing standard that Decedent's creditors will be able to defeat the survivorship feature.

Point Three (45-55%)

The gift of the ring to Friend is valid because Decedent intended to make the gift, there was an appropriate delivery under the circumstances, and Friend is presumed to have accepted the gift. Therefore, the creditors of Decedent's estate cannot reach the ring.

Whether the ring is subject to the claims against the estate depends on whether it was in Decedent's estate when she died or had been given away by Decedent before her death. An *inter vivos* gift requires intent,

delivery and acceptance. Acceptance is generally presumed, particularly when the subject matter of the gift is something of value. Thus in most cases, the issue is whether the donor intended to vest the donee with an interest in property immediately or only at some time in the future. If the latter is true, the donor has not made a gift. If the former is true, the gift was completed only if the delivery was appropriate under the facts and circumstances.

Cases in which the transfer of physical possession of the subject matter of the gift is deferred to some time in the future present a difficult case. The deferral of the transfer until the future might suggest the absence of an intent to make an immediate gift, or it might suggest an intent to make an immediate gift of a "future interest" in the property because the donor wants to retain possession of the item for life. The common law recognizes both present and future interests in property as distinct property interests. Thus, there is no reason why one cannot make an immediate gift of a future interest. In Gruen v. Gruen, 68 N.Y.2d 48, 505 N.Y.S.2d 849, 496 N.E.2d 869 (1986) the court held that a donor had made a gift to his son of a future interest in a painting where the donor wished to defer transferring possession of the painting to his son so that the donor could retain possession of the painting for the rest of his life. See also Innes v. Potter, 130 Minn. 320, 153 N.W. 604 (1915).

The facts, particularly the language in the signed typed letter which Decedent sent to Friend, indicate that Decedent intended to make a present gift of either a present or a future interest in the ring. If the court finds that Decedent intended to make a present gift to Friend, the next question is whether delivery was appropriate under the circumstances.

If a court views the ring itself as the subject of the gift, delivery of the letter would likely be considered appropriate under the circumstances, since the donee was not physically present for the donor to hand the ring to at the time the donor intended to make the gift. Courts have generally recognized that constructive or symbolic delivery of a gift is appropriate if the subject matter of the gift cannot be physically delivered (to the donee) at the time the donor wishes to complete the gift. See also In re Cohn, 187 App. Div. 392, 176 N.Y.S. 225 (1919).

If the subject matter of the gift is a future interest in a ring rather than the ring itself, then the gift can only be evidenced by a constructive or symbolic delivery, since the subject matter of the gift has no physical shape. In such case the best delivery would be a writing that is signed and delivered to the donee, as was done here. See Gruen v. Gruen, *supra*.

Under either interpretation, Decedent made a present gift to Friend of a future interest in the ring, and Decedent's creditors have no claim to it. On the other hand, if the court finds that delivery was insufficient, the ring would be an asset of Decedent's estate subject to the creditors' claims.

Decedent's creditors might argue that this was not an *inter vivos* gift but a gift *causa mortis*. The latter is a gift made under an immediate apprehension of death, usually from a known peril, which is revocable if the donor does not die. Like an *inter vivos* gift, a gift *causa mortis* must be evidenced by intent, delivery and acceptance. Some courts appear to require a greater degree of proof of intent, delivery and acceptance in the case of a *causa mortis* gift because of a concern that such gifts are inconsistent with policies underlying statutes of will in that they are often unwitnessed transfers. See, e.g., Foster v. Reiss, 18 N.J. 41, 112 A.2d 553 (1955). On the facts, it is not clear whether the decedent wrote the letter under the immediate apprehension of death. Thus, it is unclear whether the gift would be characterized as a gift *causa mortis*. If the court treated this gift as a gift *causa mortis* but regarded it with suspicion, it might find that delivery was insufficient. In this case, the ring would be an asset of Decedent's estate, subject to the creditors' claims.

1998
MEE Questions
and Analyses

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Preface

This publication includes the questions and analyses from the February 1998 and July 1998 Multistate Essay Examinations. Each test includes seven questions; jurisdictions that use the MEE select the six questions their applicants will answer.

These model analyses to the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions for the sole purpose of assisting graders in grading the examination. These models are not an official grading guide. Some states grade the MEE on the basis of state law, and jurisdictions are free to modify the analyses, including the suggested weights given to « particular points, as they wish. Grading of the MEE is the exclusive responsibility of the jurisdiction using the MEE as part of its admissions process.

The topic or topics covered by each question are listed on the first page of its accompanying analysis, followed by Roman numerals which refer to the subject matter outline for that topic. For example, question 1 on the February 1998 MEE tested Agency and Partnership VIII.A, Profits and losses, and VIII.D, Duty of loyalty. Subject matter outlines are included in the MEE Information Booklet and can also be found at www.ncbex.org.

Description of the MEE

The MEE is a three-hour examination consisting of six questions. The examination is administered in one continuous three-hour time period. Applicants are expected to spend approximately thirty minutes answering each of the questions. The areas of law covered by the questions in the examination are: Agency and Partnership, Commercial Paper, Conflict of Laws, Corporations, Decedents' Estates, Family Law, Federal Civil Procedure, Sales, Secured Transactions, and Trusts and Future Interests. Some questions include issues in more than one area of law.

The purpose of the MEE is to test the applicant's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the applicant to demonstrate an ability to communicate in writing effectively.

Instructions

The back cover of each test form contains the following instructions:

Do not break the seal on this booklet until you are told to begin.

You will have three hours in which to write your answers to six of the seven questions contained in this booklet; you will be told which of the questions you are to answer. Each question is designed to be answered in thirty minutes. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise, simply draw a line through the material you wish to delete.

Read each fact situation very carefully and do not assume facts which are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show: an understanding of the facts; a recognition of the issues included; the applicable principles of law; and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important; but make your answer complete. Do not volunteer irrelevant or immaterial information.

Some jurisdictions instruct applicants to answer MEE questions according to the law of the jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

February 1998 MEE

► *QUESTIONS*

Agency & Partnership

Commercial Paper

Decedents' Estates/Conflict of Laws

Federal Civil Procedure

Family Law

Corporations

Secured Transactions

AGENCY & PARTNERSHIP QUESTION

Ashley, Bill, and Diane are equal partners in ABD Partnership, which manufactures computer components, including keyboards. Ashley supervises the factory, Bill supervises the sales force, and Diane is responsible for the financial management of the business.

Ashley and Diane are concerned about Bill's dealings with XYZ Computer Components, the partnership's most direct competitor. Two years ago, ABD Partnership wanted to sell some used manufacturing equipment valued at \$250,000. ABD had an established policy of not selling used equipment to its competitors. Without the knowledge or consent of Ashley and Diane, Bill sold the equipment to XYZ for \$275,000. Acquisition of the ABD equipment enabled XYZ to bid successfully against ABD for a profitable government contract. When Ashley and Diane learned of the sale, they became very angry and confronted Bill. Bill claimed he believed that the premium price paid by XYZ justified the sale.

Several months later, Bill developed an improved keyboard configuration for disabled computer users who suffer from limited hand and arm mobility. Bill had developed the configuration to accommodate his disabled child. He worked on the keyboard at home in his spare time, without using any of ABD's facilities. Bill obtained a patent on the special keyboard in his own name, and then he entered into a partnership with XYZ, called B-XYZ Partnership, to manufacture it.

Ashley and Diane recently learned of Bill's patent for the special keyboard. They criticize him for obtaining the patent in his own name and for forming the partnership with XYZ. Bill correctly points out that he developed the keyboard on his own time and that XYZ is in the business of manufacturing computers to accommodate people with disabilities, while ABD is not in that line of business.

1. Did Bill violate any duties to ABD Partnership by selling the surplus equipment to XYZ? Explain.
2. What rights, if any, does ABD Partnership have in the patent for the special keyboard obtained by Bill? Explain.
3. Did Bill breach any duties to ABD Partnership by entering into B-XYZ Partnership, and, if so, must he account to ABD Partnership for any portion of the profits received by B-XYZ Partnership derived from the sale of the computer keyboards designed to accommodate the disabled? Explain.

COMMERCIAL PAPER QUESTION

Ted is the treasurer of Acme Corporation. As treasurer, he is authorized to sign checks and issue them on behalf of Acme.

Ted and his brother-in-law Fred devised a plan to defraud Acme. Ted would issue checks to a fictitious sole proprietorship, SupplyCo, purportedly in payment of invoices for goods supplied to Acme by SupplyCo. To accomplish the fraud, Fred had phony invoices prepared on forms bearing the letterhead "SupplyCo" and opened an account at Small Bank in the name of SupplyCo. Ted and Fred made checks payable to the order of SupplyCo from their own personal accounts to establish a "track record" with Small Bank of checks payable to SupplyCo being honored by drawees.

After a month during which such checks cleared in amounts ranging from \$100 to \$10,000, Ted prepared a check as treasurer of Acme drawn on Acme's bank, Big Bank, in the amount of \$9,000 payable to the order of SupplyCo. Ted signed the Acme check as treasurer and then gave the check to Fred. Fred indorsed the check as follows: "For Deposit Only - SupplyCo" and deposited the check in the SupplyCo account at Small Bank. The check was presented by Small Bank to Big Bank, and Big Bank honored the check.

After Big Bank honored the SupplyCo check, a routine audit of Acme was made. The audit uncovered the fraudulent payment to SupplyCo. However, by the time Acme discovered the fraud, Fred had withdrawn the \$9,000 from the SupplyCo account in a transaction in which Small Bank was acting in good faith. Fred and Ted have disappeared.

Under Article 3 of the Uniform Commercial Code, which, among Small Bank, Big Bank and Acme, must bear the \$9,000 loss? Explain.

DECEDENTS' ESTATES/CONFLICT OF LAWS QUESTION

Child was the biological daughter of Dad and Mom. When Child was an infant, Husband and Wife legally adopted her in State A with the consent of Dad and Mom. All the parties then lived in State A.

Three years after Child was adopted, Husband died. Thereafter, Wife married New Husband. At the time of this marriage, Child was four years old. Five years later, New Husband died intestate, domiciled in State A. He was survived by Wife, Child, and his closest blood relative, Uncle. Although New Husband never adopted Child, Child resided with Wife and New Husband until New Husband's death. New Husband raised Child and treated Child in all respects as if she were his biological child.

After New Husband's death, Wife moved to State B and established her domicile there. She died intestate in State B, survived by Child and by Grandmother, Wife's closest living blood relative. At the time of Wife's death, she owned property in State B and a summer vacation home in State A.

Grandmother, who was a domiciliary of State B, had a close relationship with Wife and Child. One week after Wife died, Grandmother died testate. Her valid will, executed two years earlier, bequeathed her entire estate to Wife, or "if Wife predeceases me, to such of Wife's children who survive me."

The laws of intestate succession in States A and B provide that one-half of an intestate decedent's property is distributable to the decedent's spouse and the other half to the decedent's issue per stirpes, or absent such issue, to the decedent's ancestors or, if none, to the decedent's collateral blood relatives.

The law of State A provides that an adopted child cannot inherit from the biological parents but can inherit from the adopting parents as if the adopted child were a biological child of the adopting parents.

The law of State B provides that an adopted child cannot inherit from an adopting parent who died intestate. However, State B law concerning the construction of wills provides, "If an adopting parent leaves a testamentary class gift to his or her children, adopted children are included in the class gift." There are no other governing state statutes.

1. Is Child entitled to inherit from New Husband's estate? Explain.
2. Is Child entitled to inherit from Wife's estate? Explain.
3. Is Child entitled to inherit from Grandmother's estate? Explain.

FEDERAL CIVIL PROCEDURE QUESTION

Passenger was riding as a passenger on a motorcycle operated by Cyclist in State A. She sustained a severe head injury when a westbound car driven by Driver collided with Cyclist's northbound motorcycle at an intersection controlled by stop signs for both roads. The accident left Passenger with permanent amnesia concerning the accident and the events leading to the collision.

Passenger, a citizen of State B, sued Driver, a citizen of State A, in federal district court in State A for \$ 1 million in damages for personal injuries. The federal court properly has diversity jurisdiction.

Passenger's complaint alleged that Driver failed to stop at the stop sign and that Driver's negligent driving was the proximate cause of her injuries. Driver's answer denied that he failed to stop and that there was any negligence on his part. In response to Driver's interrogatories, Passenger stated that her claim of negligence was based on Driver's failure to bring his automobile to a stop before proceeding through the intersection, despite the presence of a plainly visible stop sign regulating westbound traffic. She also stated, on information and belief, that Cyclist's motorcycle had reached the intersection first and was proceeding through it only after coming to a complete stop.

Before either side could take his deposition, Cyclist died of causes not connected with the accident. The only other eyewitness to the collision was Witness, who was traveling in a westbound truck immediately behind Driver's auto. When Witness's deposition was taken, he testified that he saw Driver come to a complete stop at the intersection, but that Cyclist did not stop. He also stated that the stop sign for westbound traffic was partly obscured by tall weeds, which made it difficult to see until a motorist was quite near the intersection. At her deposition, Passenger testified that, because of the accident-induced amnesia, she had no personal recollection of the events surrounding the collision.

After the close of discovery, Driver moved for summary judgment. Driver supported this motion with: (1) Passenger's answer to the interrogatories; (2) the deposition of Witness; (3) Driver's own affidavit to the effect that the westbound stop sign was difficult to see because of the growth of tall weeds in front of it, but that he had come to a complete stop before entering the intersection, whereas Cyclist did not; and (4) Passenger's deposition testimony regarding her amnesia and lack of personal recollection of the events surrounding the collision.

Passenger opposed the motion for summary judgment. Her opposition papers cited the conflicting facts raised by the allegation in her complaint that Driver failed to stop and Driver's denial of that allegation in his answer. In support of her opposition, she offered (1) an affidavit of the police officer who responded to the accident, stating that the westbound stop sign was not hidden by weeds, but, on the contrary, was plainly visible; and (2) Passenger's own affidavit stating, on information and belief, that Cyclist must have arrived at the intersection first, come to a complete stop, and only then proceeded into the intersection, and that Driver must have entered the intersection without stopping or even slowing down.

Should the trial court grant or deny Driver's motion for summary judgment? Explain.

FAMILY LAW QUESTION

NOTE: Applicants answering this question in a community property state should use community property principles. For this purpose, the phrase “marital property” means community property and the phrase “non marital property” means separate property.

Harry and Wanda, who have been married for 13 years, have two children. Harry and Wanda are now divorcing. Before marrying, they each earned \$25,000 per year as teachers. A year after their wedding, Harry quit teaching to open a television and stereo repair business called Audio-Video Repair (AVR). He invested in the business \$5,000 that the couple had saved since the wedding and \$10,000 that Wanda’s father had given the couple as a wedding gift. Wanda continued to work as a teacher. The couple postponed having children and cut back on all expenses. They invested every extra penny in the business.

AVR grew rapidly. Harry decided to incorporate AVR, contributing 52% of the shares to an employee profit-sharing plan and retaining 48% in his name alone. The contribution of shares to the profit-sharing plan was for legitimate business reasons.

At a time when Harry was earning over \$ 150,000 a year, he and Wanda agreed that she would quit her teaching job and have children. Sonny was born the next year, and Debbie was born two years later.

Wanda took care of the house and children and entertained Harry’s many business guests. AVR continued to flourish and began to set up franchises in other cities. Harry increasingly devoted himself to the business, so that he had very little time for the children and even less time for Wanda. When Debbie was two years old, Wanda began an affair with a neighbor.

Harry and Wanda have agreed that they will divorce and that the children will live with Wanda. Wanda plans to return to teaching in another two years, when Debbie reaches school age, but she will need to update her teaching credentials and can expect to earn only \$35,000 per year. Through AVR, including the franchises, Harry now earns \$750,000 a year. AVR is worth \$20 million. The parties’ only substantial asset besides the AVR stock is the family house, worth \$300,000. Harry agrees that it should be awarded to Wanda so that she and the children will have a home.

In the divorce proceeding, Wanda demands a portion of the AVR stock and temporary and permanent spousal support. Harry resists these demands. Wanda also demands child support measured as a percentage of Harry’s income. Harry acknowledges his obligation to pay child support but is unwilling to pay the amount Wanda requests. In this jurisdiction only marital property is subject to division at divorce. Nonmarital property must be awarded to the owner.

1. Are Harry’s shares in AVR subject to division? Explain.
2. Will Wanda most likely be awarded permanent spousal support, temporary spousal support, or neither? Explain.

3. What will the court consider in determining the amount of Harry's child support obligation? Explain.

CORPORATIONS QUESTION

Several years ago, Able, Baker, and Campbell properly incorporated Transport, Inc., a highway freight hauling business. Able and Baker each own 45% of Transport stock, and Campbell owns 10%. Since its incorporation, Transport has been quite profitable. However, most of its earnings have been retained to help the business grow, and only small dividends have been paid to the three shareholders.

Able, the president of Transport, is in charge of finance and sales for the business. Baker, the vice president, is in charge of operations. Able and Baker make all major decisions by consensus. Campbell is an artist and does not participate in the business operations. No shareholder or director meetings have ever been called or held. Able, who has expensive tastes and lives beyond his means, often uses corporate funds of Transport to pay his personal bills, telling Baker that once he gets his personal finances in order he will repay the company.

Last year, Able and Baker decided to expand Transport's hauling business to start hauling hazardous waste from local factories to a newly constructed hazardous waste disposal facility. Recognizing that hauling hazardous waste could be a risky business, Able and Baker wanted to keep the hazardous waste hauling activities separate from the rest of Transport's business. They formed a new corporation called HotTrucks, Inc., which was properly incorporated as a wholly owned subsidiary of Transport. Transport contributed the use (but not ownership) of a fleet of ten trucks to HotTrucks. HotTrucks' only asset was its right to use the trucks. In order to save money, Able and Baker did not obtain general business liability insurance for HotTrucks.

Able and Baker thought it wise not to be directors or officers of HotTrucks, so they asked Campbell to serve as the sole director and officer of HotTrucks. Campbell did not want to spend time on business matters when he could be working on his paintings. However, he agreed to serve as director and officer on the understanding that Able and Baker would handle all day-to-day management and operation of the business and that Campbell would not have to attend any directors' meetings or make business decisions.

A month ago, one of the trucks operated by HotTrucks crashed through the front of a video store. Baker, who was the driver of the truck, had negligently fallen asleep at the wheel. The regularly scheduled driver had called in sick, and Baker had taken his place, not having slept for 20 hours. The accident seriously injured five people.

1. On what basis, if any, can the injured persons hold Transport liable for tort claims resulting from the HotTrucks accident? Explain.
2. On what basis, if any, can the injured persons hold Able, Baker, or Campbell personally liable for such claims? Explain.

SECURED TRANSACTIONS QUESTION

Debtor publishes a newspaper. On May 3, Lender loaned Debtor \$100,000 for general operating expenses. On May 4, Debtor signed a security agreement, which stated in full:

Debtor hereby grants Lender a security interest in Debtor's equipment to secure repayment of the \$ 100,000 loan made by Lender to Debtor on May 3.

Also on May 4, Lender filed a valid financing statement, signed by Debtor, in the proper UCC filing offices.

On May 13, a second lender, Bank, also loaned Debtor \$ 100,000 for general operating expenses. In conjunction with that loan, Debtor signed a standard form security agreement provided by Bank giving Bank a security interest in:

All Debtor's equipment now owned or hereafter acquired to secure repayment of all debts of whatever nature owed by Debtor to Bank, including all loans and future advances.

Bank failed to file a financing statement covering this transaction. At the time of both of these loans, Debtor owned a single printing press, Press No. 1.

On June 1, Debtor borrowed \$50,000 from a third lender, CreditCo, for the specific purpose of purchasing a second printing press, Press No. 2. In conjunction with that loan, CreditCo had Debtor sign on that same day a valid security agreement that granted CreditCo a security interest in Press No. 2. Debtor used the proceeds of CreditCo's loan to purchase Press No. 2 for \$50,000. Debtor took possession of Press No. 2 on June 2. No financing statement was filed in connection with this transaction.

Debtor made regular payments on its obligations to Lender and Bank. By July 15, Debtor had completely paid off its original debts to both Lender and Bank.

On August 1, however, Debtor borrowed an additional \$50,000 from Lender and an additional \$100,000 from Bank. No new security agreements or financing statements were generated in connection with these new loans.

It is now September 15. Debtor owes \$50,000 each to Lender and CreditCo and \$100,000 to Bank. Debtor is in default on all three loans, and Debtor's creditors are seeking to foreclose on Press No. 1 and Press No. 2. The presses are each worth \$50,000.

1. As between Lender and Bank, which has the superior claim to Press No. 1 ? Explain.
2. As among Lender, Bank, and CreditCo, which has the superior claim to Press No. 2? Explain

July 1998 MEE

► *QUESTIONS*

Decedents' Estates
Agency & Property
Federal Civil Procedure/Conflict of Laws
Secured Transactions
Family Law
Corporations
Trusts

DECEDENTS' ESTATES QUESTION

On January 2, 1995, Testator died testate in a nursing care facility called Nursing Home, Inc. Testator's will, signed on December 28, 1994, when she was mentally competent, makes two bequests: (1) a bequest of \$ 100,000 to "my heirs at law" and (2) a bequest of "my residuary estate to Nursing Home, where I shall be resident at my death." President, who is both a director and the president of Nursing Home, was named executor. Testator's will was drafted by Lawyer, a shareholder of Nursing Home, who also serves as Nursing Home's attorney. Testator's only heir is her cousin, Charles, who last saw Testator nearly a decade ago. *T*

Throughout the 1980s, Testator's health declined. During the 1980s, while still living on her own, Testator became close friends with President. He visited her apartment many times and arranged for employees of Nursing Home to moonlight as nurses in her apartment. In 1992, Testator's physical condition deteriorated so significantly that she needed full-time care. President helped Testator make arrangements for admission to Nursing Home. While Testator was living at Nursing Home, a number of "estate planning seminars" were presented there by Lawyer, and a pamphlet titled "Will Information Guide" was distributed to the residents. The pamphlet, written by President, had extensive provisions regarding Nursing Home's need for charitable gifts and the proper method of including bequests to Nursing Home in a will.

On the evening of December 28, 1994, after attending an estate planning seminar given by Lawyer, Testator said she wanted to write her will. Testator, Lawyer, and President immediately went into President's office, where Lawyer drafted the will in full accord with Testator's instructions and with President present. Two visiting friends of Testator were also present in the room when the will was signed. They will testify that after Testator declared the document to be her will and asked them to sign as witnesses, she attempted to sign the will. However, because of a chronic tremor, Testator's hand shook so badly that she was unable to hold the pen despite repeated attempts. In frustration, she finally asked President if he would write her name for her on the will, which President did. Immediately thereafter, the two friends signed the will as witnesses.

After the will was executed, Lawyer gave the will to Testator. She later placed it in her night table drawer for safekeeping.

After Testator's death, a nurse found the will in the night table. She gave it to President. When he read the will he saw that the bequest of \$ 100,000 to Testator's heirs at law had been crossed out with a straight black line made by a felt-tip marking pen.

President petitions for the probate of Testator's will. In the petition, President alleges that the entire estate should pass to Nursing Home because the will was validly executed and the bequest to Charles had been revoked.

1. On what grounds might Charles contest the will, and how likely is he to succeed on each ground? Explain.
2. If the will is probated, is Charles entitled to the \$ 100,000 bequest? Explain.

AGENCY & PARTNERSHIP QUESTION

Sam, Jake, and Bill are partners in a dry cleaning business. At the time the partnership was created, the three executed a written partnership agreement. The agreement recites that the partnership is being formed for the purpose of operating a dry cleaning business. The partnership agreement also states that each partner has an equal voice in the partnership's operations, will receive an equal share of any partnership profits, and will bear an equal share of any partnership losses. The agreement does not contain any provisions relating to the dissolution of the partnership and is silent on the duration of the partnership.

Lately the partnership has been losing money, and relations among Sam, Jake, and Bill have deteriorated. Bill believes that the business judgment of Sam and Jake is poor.

On April 15, the partnership contracted with Hotel to dry-clean drapes from Hotel's guest rooms under a phased delivery schedule that would last until June 30. The partnership expects to make a profit on this contract, payment for which is to be made by Hotel on July 15. In the meantime, the partnership has to pay the cost of performing the contract out of current operating capital.

On May 1, Bill sent separate letters to Sam and Jake stating that Bill was "ending" the partnership. The letters stated that Bill would no longer be bound by any actions of Sam and Jake, demanded that Sam and Jake immediately cease transacting any business whatsoever on behalf of the partnership, and stated that Bill would not be responsible for any expenses incurred or losses suffered by the business after May 5.

1. What is the effect of Bill's May 1 letters on the ability of the partnership to continue to conduct business, on the allocation of its future profits, and on Bill's continuing liability for expenses or losses? Explain.
2. Is Bill liable to Sam and Jake for wrongful dissolution of the partnership? Explain.

FEDERAL CIVIL PROCEDURE/CONFLICT OF LAWS QUESTION

Husband and Wife, residents of State Y, are owners in joint tenancy of a large tract of land in State Z, which they purchased as an investment several years ago. They recently made an oral agreement to sell the land for \$1 million to Developer, a shopping center developer who lives in State Z. The price seemed low to Husband, but he agreed to the sale because Wife told him she was anxious to raise some cash so they could buy a vacation home.

All negotiations concerning the transaction were held at Husband and Wife's home in State Y. Final agreement was reached over dinner after a day of discussions. No written memorandum was made of the oral agreement, but Developer immediately made a \$150,000 down payment on the agreed purchase price.

Shortly after the oral agreement was reached, Wife separated from Husband, but she remained domiciled in State Y. Husband later learned from friends that Wife had secretly intended to leave him as soon as the land was sold, that she had privately approached Developer about selling the land before Developer ever contacted Husband and Wife formally, and that Wife had received a separate \$250,000 "finder's fee" from Developer for persuading Husband to agree to the sale of the land.

Husband has filed a diversity action against Developer in the federal district court of State Z. The complaint recites the preceding facts and seeks a declaration that the oral agreement for the sale of the land is unenforceable under the State Z statute of frauds.

Under State Z's statute of frauds, oral agreements for the sale of land are never enforceable. Under State Y law, however, such agreements are enforceable when the purchaser has made a down payment.

In lieu of an answer to the complaint, Developer has filed a Rule 12(b) motion. The motion seeks relief from the complaint on two grounds. First, Developer asks for dismissal of the complaint because of Husband's failure to join Wife in the action. Alternatively, Developer seeks dismissal on the ground that the complaint fails to state a claim on which relief can be granted because the oral contract is enforceable under the law of State Y, where the agreement was made.

1. What ruling should the court make with respect to the motion to dismiss for failure to join Wife as a party in the action? Explain.
2. If the case were not dismissed because of Husband's failure to join Wife, how should the court rule on the motion to dismiss the complaint for failure to state a claim? Explain.

SECURED TRANSACTIONS/SALES QUESTION

Builder constructs and manages large condominium developments. In January, Builder began work on a 240-unit complex of luxury condominiums known as the “Eden Project.” Builder borrowed \$6 million from Bank to finance this project and granted Bank a construction mortgage on the “land and any improvements thereon” constituting the Eden Project. Bank recorded the mortgage in the proper real estate recording office. The mortgage document recited that the mortgage secured funds loaned “for acquisition of the land and for construction of improvements on the land.”

In March, Builder contacted Seller, an appliance manufacturer, about supplying built-in dishwashers and ranges, and freestanding clothes washers and dryers for the Eden Project. After preliminary negotiations, Builder sent Seller a Purchase Order for the necessary numbers and types of appliances at a total price of \$300,000. The Purchase Order also provided that: “Goods are sold to Builder on 120-day credit without interest. Builder hereby grants Seller an unconditional security interest in any and all goods delivered under this contract to secure payment of all amounts owing pursuant to this contract.” Builder signed the Purchase Order.

Seller responded to the Purchase Order by sending Builder an “Order Acknowledgment.” The Order Acknowledgment recited the quantity and price information that appeared on the Purchase Order and indicated that payment should be made “on credit, per Builder’s Purchase Order, subject to the terms and conditions on the reverse of this Acknowledgment.” The back of the Order Acknowledgment contained several preprinted terms, including one term which read as follows: “In addition to the purchase price, the buyer shall pay the seller the amount of all shipping and handling charges.” Builder’s Purchase Order did not mention shipping and handling.

In April, Seller shipped the appliances. Builder installed the appliances in the condominium units in May. On August 1, Seller sent Builder a bill for \$315,000, of which \$300,000 was for the appliances and \$15,000 was for shipping and handling.

It is November, and Builder is unable to pay its bills. It has not paid Seller and is far behind on its payments to Bank.

Seller wishes to repossess the appliances sold to Builder and remove them from the condominium project.

1. Is Builder liable to Seller for the shipping and handling charges? Explain.
2. Does Seller have the right to repossess any or all of the appliances? Explain.

FAMILY LAW QUESTION

Anna and Ben were contemplating getting married. Ben had been married before and had gone through an unpleasant divorce in which he felt that he had received unfair financial treatment. Ben told Anna he would not marry her unless she signed a premarital agreement with the following provisions: (1) all property acquired prior to or during the marriage will be held separately; (2) Anna waives all rights to alimony; (3) if they divorce or separate, custody of any children will be joint and shared; and (4) in the event Anna obtains sole custody, Ben will not be responsible for child support.

Ben's attorney prepared an agreement incorporating these provisions. Ben attached a complete statement of his financial worth to the agreement and gave it to Anna. He recommended to Anna that she show it to her attorney before signing it. Anna's attorney had serious reservations about the document and suggested she refuse to sign it as drafted. However, Anna, who loved Ben and wanted to marry him, signed it anyway without making any changes. Ben and Anna married each other three months after she signed the agreement.

At the time of their marriage, Ben was an investment advisor, with a stock portfolio worth approximately \$ 100,000. Anna was a buyer for a specialty clothing store, making a sizeable salary.

Ben and Anna have now been married for ten years. Anna worked for the first seven years of the marriage. When the second of their two children was born, she left her job permanently to stay home and care for the children, who are now six and three years of age.

The marriage has broken down, and both Ben and Anna wish to divorce. Ben's annual salary is \$ 150,000 and his portfolio is worth \$500,000, in part due to his annually investing part of his salary during the marriage. Anna has no income. Her only asset is a \$10,000 Treasury note that she inherited from her aunt.

In the divorce proceedings, Anna requests a property settlement, including a share of Ben's portfolio, as well as alimony, sole custody of the children, and child support. Ben disagrees and insists that they are bound by the premarital agreement.

How is the court likely to rule on each of Anna's requests? Explain.

CORPORATIONS QUESTION

Acquiror, Inc., a publicly held corporation, entered into negotiations to buy the stock of XYZ Corporation through a merger. Although the companies were close to a final agreement on September 1, Acquiror insisted on delaying consummation and public announcement of the deal until September 15. XYZ agreed to the delay.

Usually, a corporation such as Acquiror that makes a merger offer for another corporation can expect that its stock price will decline after the announcement of the merger.

During the first week of September, while the merger was being delayed, XYZ's stock price increased and Acquiror's stock price remained unchanged at \$10 per share. Several press reports suggested that Acquiror might be planning a merger with XYZ. On September 5, in response to specific inquiries from financial reporters and from the stock exchange where Acquiror's stock was listed for trading, Acquiror denied that it had "any agreement to enter into a merger agreement" with XYZ. Investors believed the statement, and the price of Acquiror's stock did not decline but remained at \$ 10 per share.

On September 15, Acquiror announced its merger with XYZ. As expected, Acquiror's stock declined to \$8 per share.

1. Do investors who purchased Acquiror's stock after Acquiror's denial on September 5 and before the disclosure of the merger have a claim for damages under federal law? Explain.
2. Do continuing shareholders in Acquiror have any basis under federal law to make a claim against Acquiror or its officers and directors if, because of Acquiror's statements, Acquiror is liable to other investors of Acquiror's shares? Explain.

TRUSTS QUESTION

Testator owned 50% of the stock of the ABC Corporation. Testator's sister, Sister, owned the other 50% of the stock.

Testator died in 1994. Under the terms of his testamentary trust, funded solely with his ABC stock, all income was payable to Testator's wife, Wife, for her life. Upon Wife's death the trust principal was payable to Child, who was the child of Testator from a prior marriage. Sister was named trustee of this trust.

In 1995, Sister, as trustee, attempted to sell the trust's ABC stock. The best offer she received was from Buyer, who offered her \$80,000 for the stock. Buyer also offered Sister \$400,000 if Sister would sell Buyer both the trust's ABC stock and Sister's own 50% share of the outstanding ABC stock. Sister declined this offer, preferring to retain her stock in ABC. After three more months, during which time no other offer materialized, Sister bought the ABC stock from the trust for \$100,000. This represented a 25% premium over Buyer's offer.

Sister then invested the entire \$100,000 held in the trust in 1,000 shares of Lo-Tech, Inc., a publicly traded company, which had a long record of paying steady and high dividends. At a time when other suitable trust investments were yielding a return of 5% per year, Lo-Tech paid a cash dividend of \$8 per share on shares selling for \$100 each. Just before Sister bought Lo-Tech stock for the trust, Lo-Tech hit hard times. Nonetheless, it announced that it would continue to pay its usual high dividends, even if share prices would decline as a result. Lo-Tech did so until 1997, and Sister paid all cash dividends to Wife.

In 1997, as Lo-Tech's business continued to slide, Lo-Tech substituted a stock dividend (one-tenth of a share for every share owned) for its previous cash dividend. Thereafter, Sister paid all stock dividends to Wife.

In 1998, Sister sold the trust's 1,000 shares of Lo-Tech because of her concerns about Lo-Tech's financial health. She realized only \$50,000 as a result of the company's financial slide. Sister invested the \$50,000 in a low-risk mutual fund.

Wife has just died.

What fiduciary duties owed to Child did Sister violate and, as to each:

1. what amount of damages may Child recover; and
2. what other remedies, if any, are available to Child? Explain.

February 1998 MEE

ANALYSES

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AGENCY & PARTNERSHIP ANALYSIS

(Agency & Partnership VIII.A, VIII.D)

ANALYSIS

Legal Problems:

- (1) Did Bill breach his duty of care or fiduciary obligations to his partners in ABD Partnership by selling the used manufacturing equipment to a competitor without the partners' knowledge or consent and in contravention of the partnership's established policy?
- (2) Did Bill breach his duty of loyalty or fiduciary obligations to ABD Partnership by patenting the invention in his own name?
- (3) Did Bill breach his duty of loyalty or fiduciary obligations to ABD Partnership by entering into a partnership with a competitor of ABD Partnership?

DISCUSSION

Point One (35-45%)

Bill owes ABD Partnership a duty of care and a duty of loyalty under the RUPA and has fiduciary obligations to ABD Partnership under the UP A. Bill violated his duty of care and fiduciary obligations by selling the used assets of ABD Partnership to a competitor, in violation of partnership policy.

At common law, partners' duties, *inter se*, are quite strict. According to Justice Cardozo in the frequently quoted case of *Meinhard v. Salmon*, "Copartners owe to one another... the duty of finest loyalty." "Not honesty alone, but the punctilio of an honor the most sensitive, is then the standard of behavior." 164 N.E. 545, 563 (1928).

The duties of partners to each other have been recognized by statute as well, although slightly different standards are applied under the two most important statutes, the Uniform Partnership Act (UPA) and the Revised Uniform Partnership Act (RUPA). The RUPA expressly recognizes that partners have duties to each other, stating that the "fiduciary duties a partner owes to the partnership and the other partners are the duty of loyalty and the duty of care." RUPA § 404(a) (1992). The duty of care is somewhat limited, however: A partner owes a duty of care to the partnership and the other partners to act in the conduct of the business of the partnership in a manner that does not constitute gross negligence or willful misconduct. An error in judgment or a failure to use ordinary skill and care is not gross negligence. RUPA § 404.

Unlike the RUPA, the UPA does not explicitly set out the fiduciary duties of partners toward one another. However, the fiduciary duties of care and loyalty are implied under the UPA because partners are agents of the partnership. UPA § 9. According to the UPA, "Each partner is an agent

of the partnership for the purpose of its business.” *Id.* Agents owe a duty of care and a duty of loyalty to their principals. Restatement (Second) of Agency §§ 376-398 (1958). Under § 104 of the RUPA, principles of the law of agency apply to partnerships.

In this case, Bill has violated the duty of care for two reasons. First, Bill sold the equipment without the consent of the other partners. The RUPA provides that “each partner has equal rights to management.” RUPA § 401(f) (1992). Further, if there is a difference between partners regarding an act that is within the ordinary course of business, the difference must be decided by a majority of the partners, and any disagreement regarding any act outside the ordinary course of business must be resolved by agreement among all of the partners. *Id.* at § 401 (j). Regardless of whether the sale of the equipment to XYZ is considered to have been in the ordinary course of business, failure to consult the other partners is likely to be considered willful misconduct. Second, Bill violated the established policy of the partnership against selling used equipment to a close competitor. Agents (and, as agents, partners) have a duty to act only as authorized. Restatement (Second) of Agency § 381 (1958).

Bill may claim that his actions amount to nothing more than “an error in judgment or a failure to use ordinary skill and care,” and accordingly do not violate the duty of care. RUPA § 404(e) (1992). But Bill’s flagrant violation of partnership policy and failure to consult with the other partners is the sort of behavior that a court is likely to regard as willful misconduct and a violation of the duty of care.

The UPA does not expressly impose a duty of care on a partner. However, the UPA does state that “no act in contravention of any agreement between the partners may be done rightfully without the consent of all the partners.” UPA § 18(h). Clearly, Bill sold the equipment in contravention of partnership policy and without obtaining the consent of the other partners, and therefore the action was misconduct under the UPA as well.

Point Two (10-25%)

Bill did not breach his duty of loyalty to ABD Partnership by patenting the invention in his own name.

The issue in respect of the patent is whether Bill, as an agent and partner, must hold the patent for the benefit of the partnership. As a general rule, an agent or partner assigned “to do noninventive work is entitled to patents which are the result of his invention, although the invention is due to the work for which he is employed.” Restatement (Second) of Agency § 397 (1958). Because Bill is in charge of sales, he is not employed in an inventive capacity and may hold the patent in his own name. In addition, Bill did not use any ABD facilities or any of his business time to develop the keyboard. *Id.* comment (b). If, unlike the facts given here, Bill had used ABD’s facilities to develop the invention, Bill may have owed the partnership a nonexclusive license to use the invention.

Agency & Partnership Analysis

Point Three (40-50%)

Bill did breach his duty of loyalty by competing with ABD Partnership through his participation in B-XYZ Partnership, and he must account to ABD for the profits derived from the sale of the keyboards for the disabled.

Under the RUPA and under the common law, Bill owes ABD Partnership a duty of loyalty. The duty of loyalty partners owe to the partnership imposed by the RUPA is as follows

- (1) to account to the partnership and hold as trustee for it any property, profit, or benefit derived by the partner, without the informed consent of the other partners, from a transaction connected with the formation, conduct, or liquidation of the partnership or from a use by the partner of partnership property;
- (2) to refrain from dealing with the partnership as, or on behalf of, an adverse party without the informed consent of the other partners, and
- (3) to refrain from competing with the partnership without the informed consent of the other partners. RUPA § 404.

The duty to refrain from competition is also found in agency law: “An agent is subject to a duty not to compete with the principal concerning the subject matter of the agency.” Restatement (Second) of Agency § 393.

The UPA does not expressly impose on a partner a duty of loyalty. However, as noted earlier, a duty of loyalty is implied because of the agency relationship of the partners. Moreover, the UPA requires that “every partner must account to the partnership for any benefit . . . derived by him without the consent of the other partners” in the conduct of the partnership. UPA § 21(1). Bill’s competition with the partnership through his participation in B-XYZ Partnership without obtaining the consent of the other partners is a breach of his obligations.

The issue that Bill is likely to raise is that ABD Partnership does not manufacture computer components to accommodate the disabled. ABD will argue, however, that it manufactures computer keyboards. Given the broad duties found in *Meinhard v. Salmon*, 164 N.E. 545 (1928), it is likely courts would find Bill’s action of competing in the same general line of business to be a violation of his obligations to ABD Partnership. H. Reuschlein & W. Gregory, *The Law of Agency and Partnership* (2d ed. 1990), at 279.

It is also possible to argue that Bill should have offered the business opportunity of manufacturing keyboards accommodating the disabled to ABD Partnership before entering into a new partnership with a competitor. Cases such as *Guth v. Loft, Inc.*, 23 Del. Ch. 255, 5 A.2d 503 (1939) (involving a corporation) recognize that part of the duty of loyalty requires that business opportunities must be made available to the principal before the agent individually profits from the opportunity. A good argument can be made that as a part of Bill’s duty of loyalty, he should have first offered to enter into a partnership with ABD to manufacture the specialized keyboard.

Accordingly, the partnership may maintain an action against Bill for his breach of the duty of loyalty and Bill must account to the partnership for the profits he derived from that breach. RUPA § 406(a).

COMMERCIAL PAPER ANALYSIS

(Commercial Paper V.A, V.H, V.I)

ANALYSIS

Legal Problems:

- (1) Was the indorsement by Fred in the name of SupplyCo an effective indorsement?
- (2) Is there any basis upon which Big Bank could recover the \$9,000 paid to Small Bank with respect to the SupplyCo check?
- (3) May Acme successfully demand that Big Bank recredit its account for the \$9,000 paid to “SupplyCo”?

DISCUSSION

Point One (25-35%)

The indorsement was effective because an indorsement by any person in the name of a fictitious payee is effective as the indorsement of that payee.

Ordinarily an indorsement in the name of a named payee by other than the named payee or its authorized agent is a forgery and therefore ineffective. No one taking under the forgery of a necessary indorsement can be a holder. UCC § 3-201 (b). Nonetheless, the indorsement by Fred of the \$9,000 Acme check payable to the order of SupplyCo is effective for either of two reasons.

First, the indorsement may be effective because of the fictitious payee rule. The Code says that if “the person identified as payee of an instrument is a fictitious person,” then “[a]ny person in possession of the instrument is its holder,” and “[a]n indorsement by any person in the name of the payee stated in the instrument is effective as the indorsement of the payee in favor of a person who, in good faith, pays the instrument or takes it for value or for collection.” UCC § 3-404(b). On our facts, SupplyCo is a fictitious person. Therefore, Fred’s indorsement of the check in the name of “SupplyCo” is effective both as to Small Bank and as to Big Bank, each of which either paid the instrument or took it for value or collection in good faith.

Alternatively, Fred’s indorsement in the name of SupplyCo is effective because Ted, who drew the check on behalf of Acme, never intended an entity called “SupplyCo” to have any interest in the check. Under UCC § 3-404(b), if “a person whose intent determines to whom an instrument is payable... does not intend the person identified as payee to have any interest in the instrument,” then “[a]n indorsement by any person in the name of the payee stated in the instrument is effective as the indorsement of the payee...” Ted, as treasurer of Acme who drew the check to SupplyCo, was the person “whose intent determines to whom [the] instrument is

Commercial Paper Analysis

payable.” See UCC § 3-110. Ted did not intend that SupplyCo have any interest in the check. Consequently, Fred’s indorsement in the name of SupplyCo was effective as to both banks.

Point Two (35-45%)

The drawee bank may not recover the payment made to Small Bank because Small Bank acted in good faith.

Big Bank may not recover the payment made to Small Bank for the reason that Small Bank was a holder of the instrument, was entitled to enforce it, and did not breach any warranties in presenting the check to Big Bank. First, as noted in the analysis of Point One, Small Bank was a holder of the instrument because Fred’s indorsement was effective under the fictitious payee rule. As a holder, Small Bank was a “person entitled to enforce” the instrument, and could demand and receive payment from Big Bank. See UCC §§ 3-301, 3-602. Moreover, Small Bank breached no warranties when it presented the instrument to Big Bank for payment. (The applicable warranties are set out in UCC § 3-417; the parallel Article 4 provision is UCC § 4-208.) As noted, Small Bank was a person entitled to enforce the instrument. UCC § 3-417(a)(1). The draft had not been altered, UCC § 3-417(a)(2), and Small Bank had “no knowledge” that the signature of the drawer was unauthorized. UCC § 3-417(a)(3). Consequently, Big Bank has no basis to recover from Small Bank.

Some examinees might argue that Big Bank’s payment was a “Payment or Acceptance by Mistake” under UCC § 3-418, but this would not change the result. Section 3-418 generally applies only to payments over a stop order or to payments where the drawer’s signature was unauthorized. The question states, in its first paragraph, that Ted was authorized to sign checks on behalf of Acme. Moreover, even if Ted’s signature on the SupplyCo check were unauthorized (because it exceeded his actual authority), UCC § 3-418(c) would not permit Big Bank to recover a payment made to “a person who took the instrument in good faith and for value or who in good faith changed position in reliance on the payment.” The facts stipulate that Small Bank acted in good faith, and it certainly gave value and changed its position when it allowed Fred to withdraw funds from the SupplyCo account. Accordingly, there is no basis for recovery even if one regards the signature by Ted as “unauthorized.”

Finally, some examinees who are especially perceptive might note that Big Bank cannot recover anything from Small Bank because it will suffer no loss. That is, if Ted’s signature was authorized, Big Bank can properly charge Acme’s account and will suffer no loss. (See Point Three discussion.)

Point Three (25-35%)

As between the drawee bank and Acme, Acme bears the loss on this check because Ted had apparent authority to sign the check on Acme’s behalf.

As a technical matter, the question of whether a bank may charge or must recredit a customer’s account is governed by Article 4. In particular, UCC § 4-401 authorizes a bank to charge a customer’s account for any item that is “properly payable.” However, the question whether the

bank properly paid the check and can charge Acme's account depends on an Article 3 question: whether Ted's signature on this particular check was an authorized signature of Acme.

In this case, Acme obviously would not have authorized Ted to sign a check for fraudulent purposes. However, the facts state that Acme had generally authorized Ted to sign and issue Acme checks; his signature generally authenticated Acme checks. Thus, the signature of Ted was "authorized" for purposes of Article 3. Under UCC § 3-402(a), Acme is bound by Ted's signature on the check if it would be bound by Ted's signature on a simple contract. Although Ted did not have actual authority to sign this particular check, there was no way for the drawee to know that. By generally authorizing Ted to authenticate its checks, Acme invested him with apparent authority adequate to make his signature binding on it in these circumstances. Therefore, the drawee bank properly paid the check and is entitled to charge Acme's account.

DECEDENTS' ESTATES/CONFLICT OF LAWS ANALYSIS

(Decedents' Estates IB.1; II.I/Conflict of Laws)

ANALYSIS

Legal Problems:

- (1) Is Child entitled to take one-half of New Husband's estate, as New Husband's issue, on the ground that Child had been equitably adopted by New Husband?
- (2) Is Child entitled to Wife's estate, located in State A or State B?
- (3) Is Child entitled to Grandmother's entire estate as the alternate beneficiary named in Grandmother's will?

DISCUSSION

Point One (20-30%)

Child is entitled to one-half of New Husband's estate only if State A recognizes the doctrine of equitable adoption and facts can be established to prove there had been an equitable adoption. Among other things, to find an equitable adoption, a court might require that New Husband had promised to adopt Child and, if so, Child cannot take from New Husband's estate. If State does not recognize doctrine or Child cannot prove the required elements, then Child cannot inherit from New Husband's estate.

Under the law of State A, an adopted child is entitled to inherit from the estate of the deceased adopting parent. Thus, if Child had been legally adopted by New Husband, Child would have been entitled to receive one-half of New Husband's estate. (The other half, according to the governing statutes, would have passed to Wife as New Husband's surviving spouse.)

In fact, Child was not adopted by New Husband. Thus, whether Child can inherit from New Husband depends on whether State A recognizes the doctrine of "adoption by estoppel" or "equitable adoption."

If State A does not recognize the doctrine of adoption by estoppel, Child cannot inherit. Many states, however, recognize the doctrine of adoption by estoppel. *See generally* Note, 58 Va. L. Rev. 727 (1972). Where recognized, an equitably adopted child is entitled to inherit from the "adopting parent" in the same manner as a child who had been legally adopted through the appropriate statutory procedures. While there are variations among the states, most states require the child claiming to have been equitably adopted to prove by clear and convincing evidence that "he has stood from an age of tender years in a position exactly equivalent to a formally adopted child." *See Wheeling Dollar Saving & Trust Co. v. Singer*, 162 W.Va. 502, 250 S.E.2d 369 (1978). The requirement is that the "adopting parent" have treated the "adopted child" in the same manner as a parent generally would treat a child. Relevant factors establishing the relationship might include: (1) the "adopting parent's" bestowal of love and affection on the

child, (2) the “adopting parent’s” performance of parental duties toward the child, (3) the child’s obedience to and companionship toward the “adopting parent,” (4) the child’s reliance on an adoptive relationship, and (5) the “adoptive parent’s” holding out the child as his child. *Id.* at 509. Many courts also require the child to prove that the “adopting parent” had promised, agreed, or attempted to adopt the child formally. *See, e.g., Cavanaugh v. Davis*, 149 Tex. 573, 235 S.W.2d 972 (1951).

The facts state that New Husband raised Child and in all respects treated Child as if Child were his biological child. This statement might be construed to suggest that the five elements mentioned above were satisfied. However, even if that were the case, in many states there must also have been a promise or agreement to adopt the child and no facts suggest such a promise was made here.. If a promise or agreement were required, Child could not claim an equitable adoption. If a promise or agreement is not required an equitable adoption might be formed. Absent an equitable adoption, New Husband’s estate would pass to Wife and Uncle (as New Husband’s closest living blood relative).

In a jurisdiction recognizing the doctrine of equitable adoption, if Child could prove sufficient facts to establish a basis for invoking the doctrine, New Husband’s estate would be distributed one-half to Wife and one-half to Child.

Point Two (30-40%)

Child is not entitled to inherit Wife’s property in State B but is entitled to inherit Wife’s real property in State A. State B law controls inheritance rights for all of Wife’s property other than the real property located in State A because State B was the state of Wife’s domicile at the time of her death. State A law, however, controls the disposition of the State A real property.

Whether Child is entitled to inherit as an heir of Wife depends upon whether the law of State A (permitting inheritance), where Child was adopted and certain real property is located, or the law of State B (not permitting inheritance), where Wife was domiciled at the time of death, apply. According to Restatement of Conflicts, Second, § 262, whether an adopted child is entitled to inherit the property of an intestate depends upon the law of the intestate’s domicile at the time of death. Thus, the comments provide that “if the law that would be applied by the courts of the state where the decedent was domiciled at the time of his death does not allow an adopted child to take a distributive share, he will not do so although the law governing the adoption would allow him to take.” Comment d, Restatement of Conflicts, Second, § 262. *See also* Unif. Prob. Code § 1-301; *Pazzi v. Taylor*, 342 N.W.2d 481 (Iowa 1984). This rule might be justified on the ground that the state of the intestate’s domicile at the time of intestate’s death has the most significant contacts with respect to this issue as to how the intestate’s estate should be administered as well as the most significant interest in determining which children in the state should have claims against a decedent’s property. Furthermore, estate administration is eased if only the laws of one jurisdiction control for purposes of determining the distribution of the decedent’s personal property.

However, this rule is inapplicable to real property located outside of the state of the intestate’s domicile. Under Restatement of Conflicts, Second § 263, the law governing the disposition of real property from an intestate is the law of the situs.

Decedents' Estates Analysis

Thus, Child is entitled to inherit the State A real property because State A permits an adopted child to inherit from his or her adopting parent. On the other hand, Child is not entitled to inherit Wife's State B property.

Point Three (30-40%)

Child is not entitled to take Grandmother's estate as the alternate beneficiary under her will under the State B class gifts statute. However, there are good arguments that under generally applicable rules for construing wills, Child should take under Grandmother's will because that is what she intended.

Whether Child is entitled to take under Grandmother's will also depends on the law of State B because she died a domiciliary of State B. State B law provides that an adopted child cannot inherit from an adopting parent who dies intestate. It also provides that "if an adopting parent leaves a testamentary class gift to his or her children, adopted children are included in the class gift." (emphasis added) Under this statute, if Wife had bequeathed property to her "children," Child would have been entitled to share in that class gift because the bequest would have been made by the adopting parent. The statute, however, does not provide similar treatment for class gifts to grandchildren. Thus, Child could not rely on this statute to argue that she is included in the class gift to children.

On the other hand, Child may be included in the class gift under Grandmother's will under general common-law principles. The governing principle is that in construing a testator's will, courts should, whenever possible, give effect to a testator's intent. Under this "intent principle," there is a strong argument that Grandmother intended Child to be included in the testamentary class gift. This conclusion is based upon the fact that Grandmother's will was signed two years before she died and at a time when she knew that Wife had only one child and was then a widow with little or no expectation of having more children. Furthermore, Grandmother was close to the child. Although Grandmother was a so-called "stranger to the adoption," most courts today would include an adopted child within a class gift under the facts of this problem even though no state statute specifically so provides. See generally William S. McGovern, Sheldon Kurtz & Jan E. Rein, *Wills, Trusts and Estates* § 2.2 (West Publishing Co. 1988).

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure IV.E.)

ANALYSIS

Legal Problems:

- (1) Does the existence of a material issue on the face of the pleadings preclude adjudication of a case without trial?
- (2) Does conflict in affidavits concerning an immaterial fact preclude a summary judgment?
- (3) Does the plaintiffs affidavit controverting defendant's version of the accident preclude a summary judgment, when affidavits and depositions clearly show that plaintiff cannot present evidence to support her version of the facts?

DISCUSSION

Point One (20-30%)

Existence of a material issue on the face of the pleadings will not preclude adjudication of a case without trial when it is shown on motion for summary judgment, as here, that plaintiff has no evidence to support her pleading on the issue of defendant's negligence.

The face of the pleadings in this case presents a material issue of fact, namely, whether Driver's negligence was the proximate cause of the collision between his auto and Cyclist's motorcycle. A motion for summary judgment is a procedural device that is capable of going behind the pleadings and demonstrating that there really is no genuine issue as to any material fact. Fed.R.Civ.P 56; Friedenthal, Kane & Miller, *Civil Procedure* §§ 9.1-9.3 (1985). Absent any genuine and material factual issue, there is no need for a trial of the action. One side or the other is entitled to win the case as a matter of law.

Driver has used an interrogatory (Fed.R.Civ.P. 33) to force Passenger to state a more specific basis for her conclusory allegation that Driver was "negligent." He has then set about showing that when the case comes to trial, Passenger will have no evidence to support this claim. If this is so, at trial Driver will be entitled to a directed verdict at the close of the plaintiffs case. His motion for a summary judgment is in essence an accelerated motion for a directed verdict: it seeks to show the court now what will happen later at trial after the plaintiff has rested her case at trial. "[T]he standard [for granting summary judgment] mirrors the standard for a directed verdict. . . ." *Anderson v. Liberty Lobby, Inc.* 477 U.S. 242 (1986).

Under *Ceotex v. Catrett*, 411 U.S. 317 (1986), Driver must inform the court of the basis for his motion, explaining why there is no genuine issue of fact. The papers supporting and opposing the motion for summary judgment indicate that there are three factual issues: (1) Was the stop sign for westbound traffic obscured by weeds? (2) Did Driver bring his vehicle to a complete stop

before proceeding into the intersection? (3) Did Cyclist stop at the stop sign? Driver must explain to the court that the first factual issue is immaterial, that he has affirmatively produced evidence in his favor on the second and third, and that Passenger will be unable to provide evidence to refute Driver's evidence regarding the second and third issues.

Point Two (20-30%)

The conflict in the affidavits concerning the visibility of the stop sign will not pre-clude a summary judgment because that issue will be immaterial in the light of uncontradicted evidence that Driver did stop.

Driver, in his affidavit, and Witness, in his deposition, swear that the stop sign was obscured by weeds. On the other hand, the affidavit of the investigating police officer says that it was plainly visible. This creates a genuine issue of fact on this matter. Although a motion for summary judgment can dissolve a "paper" issue, it cannot resolve a genuine one. Fed.R.Civ.P. 56(b), (c); Friedenthal, Kane & Miller, *Civil Procedure* § 9.3 (1985). Therefore, if this issue is also a material one, the motion for summary judgment must be denied.

This issue would be material if Driver was claiming that he failed to stop because he could not see the stop sign. However, Driver's supporting papers show that notwithstanding the obscured sign, he did manage to see and obey the sign by stopping his auto. Therefore, the visibility of the stop sign is not a material fact in this case.

Point Three (40-50%)

Plaintiffs affidavit controverting defendant's version of the accident will not preclude a summary judgment because her affidavit fails to show that she can produce any evidence to support her allegation that defendant failed to stop.

This is clearly a material factual issue whether Driver failed to stop at the intersection. However, for it to be a genuine issue it must appear that at trial Passenger will have enough evidence to take her version of the accident to the jury. Driver swears that he stopped and that Cyclist did not; Witness corroborates this. This makes it incumbent on Passenger to show that at trial she will have some evidence to the contrary. Fed.R.Civ.P. 56(e); Friedenthal, Kane & Miller, *Civil Procedure* § 9.3, pp. 440-41 (1985); *Celotex, supra*.

At trial Passenger cannot testify herself about which driver ran the stop sign, because her amnesia precludes her from having any personal knowledge about this matter. Since she has no admissible evidence to support her version of the accident, she will be unable, at trial, to carry her burden of proof on the issue of Driver's negligence. Passenger cannot make an issue merely by questioning the credibility of Driver's or Witness's affidavits, unless she provides affidavits supporting her case on the merits or specifically casting doubts on the veracity of their statements. *Id.* at 442. Therefore, there is no genuine issue as to this material fact. *See Celotex Corp. v. Catrett* 477 U.S. 317 (1986). It may be conventional wisdom that summary judgment is generally inappropriate in negligence cases, because the jury may still infer negligence when underlying facts are undisputed; but that does not apply here, because plaintiff has no evidence to

establish the only particular fact (Driver's failure to stop) from which negligence could be inferred.

The outcome of the case is a foregone conclusion: Driver would be entitled to a directed verdict because of Passenger's lack of evidence to support her version of the accident. Accordingly, the trial court should enter a summary judgment in his favor.

FAMILY LAW ANALYSIS

(Family Law III.D, III.E, III.F)

ANALYSIS

Legal Problems:

- (1) Is a spouse's interest in a closely held corporation, which the spouse founded and worked in throughout the marriage and in which marital funds were invested, marital property subject to division at divorce?
- (2) Is a spouse who divorces after a medium-length marriage and who can be self-supporting, but not at the marital standard of living, entitled to spousal support, and, if so, for how long and at what level?
- (3) How is the amount of child support determined when the noncustodial parent's income is very high?

DISCUSSION

Point One (35-45%)

Harry's closely held corporation stock is marital property because the stock was acquired with marital funds and through the industry of both spouses during the marriage.

Property which spouses acquire during the marriage is presumed to be marital property. Uniform Marital Property Act § 4(b)(1983); Uniform Marriage and Divorce Act (UMDA) § 307, 9 U.L.A. 490 (1973); H. Clark, *The Law of Domestic Relations, Second* § 15.2 & nn.3,7 (1988). The fact that title to the AVR stock is held in Harry's name alone does not rebut this presumption, since he determined in whose name the stock would be held. The remaining facts in this problem support the conclusion that the stock is marital property. The company was initially financed with a wedding gift, which is marital property, and with money the spouses earned after the wedding, which is also marital property. The business grew because of Harry's efforts and skills, and the product of a person's efforts during marriage is ordinarily marital property. Further, the business is the family's major source of livelihood. Clark, *supra*, § 15.2 & n.27. Moreover, Wanda worked during the early years, giving Harry the flexibility to invest so much time and energy in the business. Wanda's career sacrifice, contribution as homemaker, and entertainer of business guests enabled Harry to expend his time building the business.

Even though Harry reorganized the business into a corporation, his shares of stock are traceable to his original interest in the company, which was marital property, and, therefore, they are marital property as well. Indeed, Wanda might try to argue that the whole corporation (including the stock held by the employee profit-sharing plan) is Harry's, on the theory that it is his alter ego. However, the fact that a third party owns shares in the corporation cuts against this argument, particularly because AVR was incorporated and the stocks were contributed to the

employee profit-sharing plan for valid business purposes, and there is no evidence of a fraudulent conveyance. Clark, *supra*, § 15.1 & n.17.

Point Two (35-45%)

Following a medium-length marriage a court would probably award spousal support only if the dependent spouse's share of marital property is insufficient to generate enough income to meet his or her needs. If the income from the property is insufficient, a court would probably award spousal support for at least long enough to allow the dependent spouse to become self-supporting. However, some courts might award a spouse in Wanda's position permanent spousal support if necessary to enable her to maintain the marital standard of living.

Spousal support is awarded on the basis of a number of factors, including the payor's ability to pay, the recipient's need and ability to be self-supporting, and the marital standard of living. The first factor is not a limit here.

The problem is determining what Wanda's "needs" are. In some states, a person is not considered to be in need if he or she has sufficient income to support a modest standard of living, regardless of the marital standard of living. A court following this approach would probably still award Wanda "rehabilitative alimony," that is, temporary support at a sufficient level and for sufficient time to enable her to update her teaching credentials and re-establish her career. Some courts would also extend the period of temporary support to enable her to remain at home to care for the children while they are young. Clark, *supra*, § 16.4.

However, in many states spouses are considered to be in need if their income is insufficient to maintain the marital standard of living, at least in some circumstances. Several factors here would support an award to enable Wanda to maintain the marital standard of living. She stopped working to care for the family and to entertain Harry's business friends. Wanda could argue that she sacrificed her own career to further Harry's and the children's interests and that the court should reward these reliance expenditures. In some states this marriage would be treated as a long-term marriage, which would strengthen Wanda's claim to maintain the marital standard of living. Clark, § 16.4 & nn. 80-82.

If Wanda is entitled to spousal support, most courts would first determine whether she was awarded sufficient property to generate the income she needs. UMDA § 308(a), 9 U.L.A. 160 (1979). If her share of the property is not sufficient to generate enough income, she will be awarded spousal support, although in this case a property settlement of one-half of Harry's stock would be about \$4 million, probably enough to vitiate the need for spousal support.

In a few states Wanda's commission of adultery would preclude her from being awarded spousal support; and in others it would diminish the amount she received. Clark, *supra*, § 16.4 & n.21. However, fault may not be considered under UMDA § 308(b), 9 U.L.A. 160 (1979) and under the laws of many states.

Point Three (25-35%)

Most courts would not award child support based solely on a percentage of the parents' income where that income is very high. Instead, they would cap the award based on some evaluation of the child's needs.

Child support is based on the parents' capacity to pay, the parents' income, and the needs of the children. All states now have child support guidelines, as required by federal law. Social Security Act, 42 U.S.C.A. § 667. The guidelines must consider the income of the noncustodial parent and must also provide for the child's health care needs. 45 C.F.R. § 302.56 (1996). In all states the amount produced by the formula is presumed to be the proper amount of the award, although this presumption is rebuttable. Deviations from the guideline can be made only upon express findings of fact.

Where the parents' combined income is very high, as here, some state guidelines would establish a presumptive amount that would be far more than any measure of the children's needs, while other guidelines would not address this situation at all. In either case, most courts probably would not apply the guidelines or extrapolate from them in a way that resulted in an extremely high award.

Instead, the primary factor that a court would most likely consider is the children's needs, generously defined. Clark, *supra*, § 17.1. Another factor might be the degree of luxury established during the marriage. UMDA § 309. Lynn D. Wardle, Christopher L. Blakesley & Jacqueline Y. Packer, *Contemporary Family Law: Principles, Policy and Practice* § 38.02 (1988).

CORPORATIONS ANALYSIS

(Corporations III)

ANALYSIS

Legal Problems:

- (1) Do the facts justify piercing the corporate veil of HotTrucks in order to hold its parent liable for tort claims of the subsidiary?
- (2)(a) Do the facts justify piercing the corporate veil of Transport?
- (2)(b) If the court pierces the corporate veil of Transport, is each of Able, Baker, or Campbell personally liable to the injured persons?
- (2)(c) Is Baker, as the negligent driver of the truck, protected from liability because he was acting on behalf of the corporation?

DISCUSSION

Point One (35-45%)

A court is likely to pierce the corporate veil of HotTrucks because certain formalities of corporate procedure have not been followed, it is undercapitalized, and it is an alter ego or agent of Transport.

As a general rule, shareholders of a corporation are not personally liable for the debts of the corporation. Harry G. Henn & John R. Alexander, *Laws of Corporations*, § 146 at 344-347 (1983). One exception to this general rule is the doctrine of piercing the corporate veil. Courts generally look to see whether the corporation has been so dominated by an individual or another corporation that it may be considered as the other's "alter ego." Robert W. Hamilton, *The Law of Corporations*, § 6.2 at 829-831 (1987).

When analyzing whether a parent corporation is liable for the obligations of its subsidiary, courts have looked for the existence of the following circumstances:

- "The formalities of separate corporate procedures for each corporation are not observed." Henn & Alexander, § 148 at 356 (1983).
- "The corporation is inadequately financed as a separate unit *"Id.* The courts analyze whether the corporation is capitalized to meet "its normal obligations foreseeable in a business of its size and character..." *Id.*
- "The policies of the corporation are not directed to its own interests primarily but rather to those of the other corporation." *Id.*

Each of the three elements is present in the case of HotTrucks. HotTrucks did not observe required corporate formalities such as conducting regular directors' meetings. In addition,

Corporations Analysis

Campbell, who is listed as the corporation's officer and director, did not manage the business and in fact had nothing to do with it. The facts indicate that Able and Baker, who actually managed Transport, the parent corporation, also managed HotTrucks, the subsidiary corporation, even though they were not officers of HotTrucks.

Furthermore, HotTrucks was inadequately capitalized since its sole asset was the use of ten trucks. The business of hauling hazardous waste is risky, and HotTrucks does not have assets sufficient to meet the obligations and risks associated with the type of business in which it is engaged.

Finally, the policies of HotTrucks were directed at the interests of Transport not at its own independent business interests. This is shown by the fact that no business insurance was obtained to cover its operations and from the fact that the nature of HotTrucks' business was to service certain high risk activities in which Transport was unwilling to engage. Robert W. Hamilton, *Corporations*, IYB(4) at 205 (1992). The subsidiary corporation was, in substance, an alter ego of Transport.

As a result, a court is likely to pierce the corporate veil and hold Transport liable for the obligations of HotTrucks in connection with the truck accident.

Point Two(a) (25-35%)

A court may pierce the corporate veil of Transport because Transport failed to follow certain corporate formalities in its operation of the business.

The standards for piercing the corporate veil are the same whether the shareholders are corporations or individuals. As a general rule, "where corporate formalities are substantially observed, initial financing reasonably adequate, and the corporation not formed to evade an existing obligation or a statute or to cheat or to defraud, even a controlling shareholder enjoys limited liability." Henn & Alexander, § 146 at 347.

There is no evidence that Transport was inadequately capitalized since the business has been profitable and most of its earnings were retained for use in the business, rather than distributed to the shareholders as dividends. Transport was not set up for any fraudulent or illegal purpose. A desire by owners of a business to benefit from the limited liability that a corporate form provides does not constitute an improper purpose. Henn & Alexander, § 146 at 344.

However, the shareholders of Transport failed to follow corporate formalities: shareholders' and directors' meetings were not held; Able and Baker made all decisions by consensus without involving Campbell; and Able did not treat his personal finances and those of Transport separately.

Courts are inconsistent in their approach to piercing the corporate veil when corporate formalities are disregarded but the other elements of proper corporate existence are found. If the corporation is adequately capitalized and there is no other evidence of inequity or fraud, some courts refuse to pierce the corporate veil. *See, e.g., Zubik v. Zubik*, 384 F.2d 267 (3rd Cir.1967). Other courts pierce the corporate veil in cases like this because shareholders should not be

permitted to ignore the rules of corporate behavior and claim the advantage of the corporate shield. *See Zaist v. Olson*, 227 A.2d 552 (Conn. 1967); Hamilton, *Corporations* IVB(3) at 203-204; Lewis D. Solomon & Alan R. Palmiter, *Corporations: Examples and Explanations* § 6.24 at 71-72.

Therefore, it is arguable but not certain that a court would pierce the corporate veil of Transport.

Point Two(b) (10-20%)

If the corporate veil of Transport is pierced. Able and Baker are likely to be the shareholders personally liable, but Campbell, a passive shareholder, may not be held personally liable.

As a general rule, when courts pierce the corporate veil, all of the shareholders of that corporation are liable. Some courts, however, have not extended liability to passive investors. Solomon & Palmiter, § 6.2.7 at 73. There “is some authority, for example, for piercing the corporate veil to hold shareholders active in the business personally liable, but recognizing the same corporation’s separate existence to protect passive investors from the same liability.” Hamilton § 6.9 at 99. *See discussion in Musco Corp. v. Qualite, Inc.*, 1994 U.S. Dist. Lexis 9799 at n.6. Protecting passive investors seems particularly appropriate if the corporate shield is being pierced because the corporation is the alter ego or agent of dominant shareholders.

Able and Baker were active investors in Transport; they made all major corporate decisions by consensus. Able and Baker each owned 45% of the shares of Transport and Able did not treat the finances of Transport separately from his personal finances. In addition, the facts indicate that Transport was operated as the agent of Able and Baker who were the dominant shareholders. This is shown by the fact that shareholders’ and directors’ meetings were not called or held and that the decisions were made by Able and Baker alone without any input from Campbell. This makes it even more likely that a court would pierce the corporate veil of Transport and hold Able and Baker personally liable.

By contrast, Campbell was only a 10% shareholder and did not participate in the business in any way. As a result of Campbell’s role as a passive investor, some courts would not hold Campbell personally liable even if the corporate veil of Transport was pierced and Able and Baker were held personally liable.

Point Two(c) (5-15%)

Baker, as the negligent driver of the truck, is not protected from liability by virtue of his corporate position.

The general rule is that if “the shareholder personally commits a tort while acting as an agent for his or her corporation, he or she is personally liable for the tort because of the general rule that tortfeasors are personally liable even though they are acting as agents.” Hamilton, § 6.3, at 83. *See also Henn & Alexander*, § 146 at 347. Likewise, an “agent who does an act otherwise a tort is not relieved from liability by the fact that he acted at the command of the principal or on account of the principal.” Restatement (Second) of Agency § 343 (1957).

Corporations Analysis

Baker was negligent when he fell asleep while driving the truck for HotTrucks that was involved in the accident. He cannot argue that he is not personally liable because he was acting as an employee of HotTrucks. Because Baker was negligent, he is liable for the accident whether or not the corporate veil of Transport is pierced.

SECURED TRANSACTIONS ANALYSIS

(Secured Transactions III.C, IV.A.F)

ANALYSIS

Legal Problems:

- (1) Does Lender's security interest cover future advances when the security agreement is silent on the point?
- (2) Which of two unperfected security interests prevails?

DISCUSSION

Point One (40-60%)

Because Lender's security agreement explicitly applied only to the May 3 loan, it does not cover future advances made by Lender. Thus, Lender's August 1 loan is unsecured and Lender no longer has a security interest in Press No. 1. Bank prevails.

The security agreement between Lender and Debtor provided that Lender had a security interest in Debtor's equipment to secure the \$ 100,000 loan granted "on May 3." Thus, on its face the agreement does not cover any obligation owed to Lender by Debtor other than the May 3 loan.

Article 9 of the Uniform Commercial Code permits security agreements to cover future advances. *See* UCC § 9-204. However, a security agreement covers fixture advances only if the security agreement explicitly includes a future advances clause. *Id.* at comment 5.

Here, Lender's May 3 loan has been paid in full. It has made a further loan, but there is no agreement giving it a security interest in Press No. 1 or Press No. 2 to secure that further loan. Thus, Lender is completely unsecured. By contrast, Bank's security agreement with Debtor expressly covers "all loans and future advances." Thus, Bank's August 1 loan is secured.

Some examinees will be tempted to conclude that Lender has priority over Bank because of the fact that Lender was the only party to file a financing statement. However, although Lender has filed a financing statement, it is unsecured as to its second loan (i.e., future advance). Bank, on the other hand, is secured although its interest is unperfected. Because Lender is only a general creditor of Debtor with no security interest or lien to secure the August 1 loan, Lender has no enforceable interest in Debtor's property. Thus, Bank is the only party with a security interest in Press No. 1 even though it failed to file a financing statement. Although that interest is unperfected, its interest still has priority over Lender.

Point Two(a) (40-60%)

With respect to Press No. 2. Bank and CreditCo have conflicting unperfected security interests. In such a situation, the first security interest to attach prevails, (b) CreditCo's interest was first to attach because Bank's unperfected interest secures only the August 1 loan, which was made after CreditCo's interest attached.

Secured Transactions Analysis

As noted above, Lender has no interest in Press No. 2 because Debtor's current obligation to Lender is unsecured.

(a) First-to-attach has priority.

Bank does have an interest in Press No. 2. Its interest secures the \$100,000 advance it made on August 1 because Bank's security agreement with Debtor had an explicit future advance clause and an after-acquired property clause. However, Bank's interest is unperfected because it never filed a financing statement.

CreditCo also has a security interest in Press No. 2 to secure the purchase money loan it made to Debtor to purchase the machine, but CreditCo also neglected to file a financing statement.

Neither Bank nor CreditCo has a perfected interest, because neither filed a financing statement. In the event of a conflict between unperfected security interests, "the first to attach has priority." UCC § 9-312.

(b) CreditCo was first to attach.

The first-to-attach rule favors CreditCo in this case. A security interest based on a written security agreement attaches when the last of three things occurs: (i) debtor has signed the security agreement, (ii) value has been given, and (iii) debtor has rights in the collateral. In this case, Debtor signed the agreement with Bank in May and Bank advanced value to Debtor at that time. However, Debtor did not acquire rights in Press No. 2 until June 2, so Bank's security interest in Press No. 2 attached at that time. However, CreditCo's security interest attached at the same instant. CreditCo and Debtor signed a security agreement on June 1 and CreditCo gave value at that time. Debtor acquired rights in the collateral on June 2, so CreditCo's interest attached the instant Debtor acquired rights in the collateral, just as Bank's did. But Debtor paid off Bank's May loan, extinguishing its security interest in Press No. 2, and the security interest did not re-attach until the August 1 loan was made. (The priority of future advances dates back to the time of the first advance under § 9-312(7), but only if the security interest is perfected.)

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► *ANALYSES*

Decedents' Estates
Agency & Partnership
Federal Civil Procedure/Conflict of Laws
Secured Transactions/Sales
Family Law
Corporations
Trusts

DECEDENTS' ESTATES ANALYSIS

(Decedents' Estates II.A, II.F, II.J)

ANALYSIS

Legal Problems:

- (1) Did Testator execute the will with the formalities required by the statute of wills?
- (2) In light of the facts, could Testator's will be denied probate (or have its probate set aside) on the grounds that the Testator executed the will while under the undue influence of others?
- (3) Was the \$100,000 bequest revoked by cancellation as a result of the fact that, when the will was found, the language of the bequest had been crossed out with a black felt-tip pen?

DISCUSSION

Point One (20-30%)

Under the statutes of wills imposing minimum formalities of execution, the will appears to have been validly executed in that it was signed for Testator by a third party in Testator's presence and at Testator's direction, and witnessed by at least two witnesses.

The Uniform Probate Code § 2-502 requires either that the testator sign her will or that another sign the testator's name "in the testator's conscious presence and by the testator's direction." This statute, in common with most statutes of wills, contemplates the possibility that under certain circumstances the testator may be physically unable to sign his or her name. While "third-party signing" statutory provisions were historically motivated by a concern that a testator would not know how to write, the language is sufficiently broad to validate third-party executed wills whenever the testator's signature has been affixed to the document by another acting at the testator's direction and in the testator's presence. While the UPC has no declaration or verbal attestation request requirement, factually both occurred here and the will would not fail for want of due execution on those grounds, if required by the governing statute.

Under the facts, Testator first attempted to sign the will on her own. When that failed because of her shaking hand, she requested President to sign for her, which he did, in her presence. Thus the statutory requirements appear to be fully satisfied and the will was validly executed. *See generally* William McGovern, Sheldon F. Kurtz & Jan Rein, *Wills, Trusts and Estates* § 4.2.

Point Two (40-50%)

It is unlikely under the facts presented that the court would find that the will was procured by undue influence.

Wills may be contested on a number of grounds, including undue influence. The burden to prove that a will should be denied probate on this ground is upon the contestant. UPC § 3-407.

Courts scrutinize cases for undue influence when the will leaves property to persons who would not otherwise be deemed to be natural objects of a testator's bounty. In this case, it is possible that a court might find Nursing Home a natural object of Testator's bounty since she had spent much time there, was apparently well-cared for, and was not close to her blood relatives.

To set aside a will on the grounds of undue influence, the contestant must prove that, at the time the will was signed, the testator was susceptible to undue influence, that the procurer had motive and opportunity to influence, and that the will was a result of the substitution of wills. William McGovern, Sheldon F. Kurtz & Jan Rein, *Wills, Trusts and Estates* § 7.3. As to the first requirement, susceptibility, the contestant alleges weakened physical state; on the other hand, the facts state Testator was mentally competent and include no facts suggesting a weakened mental state.

Motive (to secure the bequest) and opportunity (confinement in nursing home; participation in execution) are easily demonstrated.

The most difficult element to prove is substitution of wills. If the burden of proof remains on the contestant, he cannot merely imply it from the existence of other elements, and substitution by direct evidence is difficult to prove. Weakened physical state is not evidence of weakened mental state; in fact, here the Testator was mentally competent when she signed the will; furthermore, there is no evidence that Testator's free agency was overcome by President, so that the will can be regarded as a product of his volition rather than hers. Here, for example, it appears that Testator initiated the draft of her new will. Furthermore, Testator had no close relatives who had attended her that she might have preferred to Nursing Home; she hadn't seen Cousin in a decade.

There is the possibility of arguing that a confidential relationship existed between Testator and President, raising a higher degree of suspicion and perhaps even a presumption of undue influence. While President received nothing under the will, jurisdictions usually do not require personal benefit. *In re Estate of Maheres*, 897 P.2d 268 (OK. 1995). However, courts have held that the mere showing of a confidential relationship is insufficient to set aside a will on the grounds of undue influence.

Point Three (20-30%)

Unless the presumption about marks of cancellation found on a will is overcome which may be possible under the facts), the bequest to Charles will be revoked if the jurisdiction permits partial revocations.

Most jurisdictions recognize "partial revocation by physical act." UPC § 2-507(a). The straight black line through the bequest is a "cancellation" within the meaning of the statute since it came in contact with the words of the will. When marks of cancellation are found on a will known to last have been in the testator's possession, a presumption arises that such marks were made by the testator with the intent to revoke. See William McGovern, Sheldon F. Kurtz & Jan Rein,

Wills, Trusts and Estates, § 5.2. Under this presumption, it would appear that the bequest had been revoked by the testator. If the bequest is revoked, then it passes as part of the residuary estate to Nursing Home, as President claims. In jurisdictions that do not permit partial revocations, the bequest to Charles is valid because partial revocations are impermissible.

The presumption of revocation is rebuttable. The burden to overcome this presumption is on the party claiming that the bequest has not been revoked. Here, two facts may aid in rebutting the presumption. The first is that while the will was in the custody of the decedent until her death (and the law, therefore, presumes that the cancellation was made by the decedent with intent to revoke), the will was found by an individual who, as an employee of the beneficiary, might have an interest in seeing the bequest revoked. While this fact alone is probably not sufficient to overcome the presumption, there is also the fact that the marks of cancellation were made by a straight black line. Testator, at the time she attempted to sign the will, had a chronic tremor and was in such weakened physical condition that she was incapable of holding a pen. Given that condition, it is unlikely that her condition had improved between December 28 when the will was signed and the following January 2 when she died. There is, accordingly, good reason to believe that she did not make the marks on the will. In light of this, a jury could conclude that the presumption had been overcome and that the bequest to Charles was not revoked.

If the state does not permit partial revocations, the bequest to Charles is not revoked.

AGENCY & PARTNERSHIP ANALYSIS

(Agency & Partnership V, VIII.B)

ANALYSIS

Legal Problems:

- (1) What effect do Bill's letters have, if any, on continuation of the partnership business and allocation of expenses, losses and profits?
- (2) Is Bill liable in damages to Sam and Jake for sending the May 1 letters?

DISCUSSION

Point One (55-65%)

Bill's May 1 letters did not terminate the partnership, although the letters dissolved the partnership of Sam, Jake, and Bill. The partnership will not terminate until the winding-up of the partnership is completed. Old business must be completed, with expenses, losses and profits shared as per the partnership agreement. New business may not be undertaken by the partnership.

Under the Uniform Partnership Act (UPA), a partner has the power to dissolve a partnership at any time. *See* UPA §31. *See also* Claire M. Dickerson, *Partnership Law Adviser* 223-224 (1991). Dissolution of a partnership is defined by the UPA as "the change in the relation of the partners caused by any partner ceasing to be associated in the carrying on as distinguished from the winding-up of the business." UPA § 29. The partnership is not terminated by the dissolution, but rather "continues until the winding-up of partnership affairs is completed." UPA § 30. *See also* Harold G. Reuschlein & William A. Gregory, *The Law of Agency and Partnership* § 227 at 343 (2d ed. 1990). Thus, the terms "dissolution" and "termination," as used in the UPA, are not synonyms. *Englestein v. Mackie*, 182 N.E.2d 351, 357-58 (111. App. Ct. 1962). Under the UPA, winding-up (sometimes referred to as liquidation of the partnership) is the process that normally occurs between the dissolution and the termination of a partnership. *See Englestein*, 182 N.E.2d at 357-58.

Under the above principles, Bill's May 1 letters did not terminate the partnership, even though they purported to end it. Instead, the letters dissolved the partnership of Sam, Jake and Bill. As a result, Bill was no longer associated with Sam and Jake in the carrying on of the partnership's dry cleaning business. The letters did not terminate the partnership because after the dissolution it was still necessary to wind up the partnership affairs. The partnership will terminate at the completion of the winding-up process. Moreover, Bill will receive his share of the profits from the Hotel contract, and he will also remain liable for any expenses or losses incurred in the winding-up process, including the expenses of carrying out the Hotel contract (as opposed to losses resulting from new business), even if the losses are incurred after May 5.

Sam and Jake have no authority to enter into new business on behalf of the partnership after dissolution of the partnership by Bill. However, Sam and Jake have authority to wind up the partnership by finishing uncompleted business, including completion of the contract with Hotel. In addition, they have authority to do any acts necessary to wind up the partnership business. Acts that may be necessary for the winding-up of the partnership business include collecting debts owed to the partnership, paying obligations owed by the partnership, liquidating partnership assets, and settling accounts between the partners. *See* Reuschlein & Gregory, *supra*, § 227 at 344-45.

The right of Sam and Jake to wind up the partnership is not affected by Bill's May 1 letters demanding that Sam and Jake cease transacting any business on behalf of the partnership. Bill does not have the unilateral power to prevent Sam and Jake from completing unfinished business and winding up partnership affairs. Unless there is a different agreement between the parties, Sam and Jake have a right to wind up partnership affairs. *Security First Nat'l Bank v. Whittaker*, 50 Cal. Rptr. 652, 654 (Cal. Dist. Ct. App. 1966).

Point Two (35-45%)

Bill is not liable to Sam and Jake for dissolving the partnership because the partnership was a partnership at will. Dissolution of a partnership at will is not wrongful.

A partner always has the power to dissolve the partnership. However, under the UPA a partner is liable for damages if he or she dissolves a partnership in contravention of the partnership agreement. UPA § 38(b). For example, if the partnership agreement specifies a term of duration or a particular undertaking for the partnership, a dissolution before the expiration of the specified term or the accomplishment of the particular undertaking contravenes the partnership agreement. UPA § 3' 1(2). In those situations the partner has the power but not the legal right to dissolve the partnership. *See* II Alan R. Bromberg & Larry E. Ribstein, *Partnership* § 7.03(a) (1994); Reuschlein & Gregory, *supra*, § 229(G).

A dissolution of a partnership does not contravene the agreement between the partners where the agreement does not specify a definite term or a particular undertaking for the partnership. UPA § 31(l)(b). Such a partnership is often referred to as a partnership at will. The law is clear that a partner is not required to have cause to dissolve a partnership at will. *Girard Bank v. Haley*, 332 A.2d 443, 446 (Pa. 1975). A partner in a partnership at will has both the power and the legal right to dissolve the partnership. *See* II Bromberg & Ribstein, *supra*, § 7.02(c); Reuschlein & Gregory, *supra*, § 227 at 344.

The partnership agreement between Sam, Jake, and Bill is a partnership at will. The partnership agreement does not specify a term for the partnership and the partnership is not for a particular undertaking. *See Butler v. Forker*, 221 N.E.2d 570,573 (Ind. Ct. App. 1966)(concluding that partnership to build a bridge dissolved upon completion of bridge). While the partnership agreement states that it is for the purpose of operating a dry cleaning business, this is insufficient to make the partnership one for a particular undertaking. A partnership for a particular undertaking is one which has a purpose which is capable of accomplishment at some time, even

if the exact time is unknown or is not ascertainable at the time of the agreement. *Girard Bank v. Haley*, 332 A.2d 443, 447 (Pa. 1975).

Since the partnership is at will, Bill has not only the power to dissolve the partnership but also the legal right to do so. Bill does not need a justification for dissolving the partnership. Because the dissolution is not wrongful, i.e., in contravention of the partnership agreement, Bill is not liable in damages for dissolving the partnership. *Campbell v. Miller*, 161 S.E.2d 546, 551-52 (N.C. 1968)

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure IV.C Conflict Of Laws III.C)

ANALYSIS

Legal Problems:

- (1) Under Fed. R. Civ. P. 19, is Wife a necessary and indispensable party who cannot be joined without destroying the court's diversity jurisdiction?
- (2) Which state's law will be applied to determine whether the oral agreement for the sale of land is enforceable?

DISCUSSION

Point One (45-55%)

As a co-owner of the land and a joint obligor on the contract. Wife is a necessary and indispensable party to any action that potentially affects title to the land or validity of the contract. Since her joinder as a defendant would destroy diversity, the court should dismiss the action.

A motion to dismiss an action for "failure to join a party" raises three issues. First, is joinder of the absent party proper under Rule 19(a) of the Federal Rules of Civil Procedure? Second, if joinder is proper, is it possible to join the party? Finally, if it is not possible to join the absent party, should the court proceed in the absence of the party or dismiss the action? In other words, is the absent party an "indispensable" party—a party in whose absence the action cannot fairly proceed? Fed. R. Civ. P. 19(b). *See generally* Wright, Miller, & Kane, *Federal Practice and Procedure: Civil* 2</§ 1609(1986).

1. Joinder is proper.

A federal court should join a person as a party if (1) in the person's absence complete relief cannot be accorded among those already parties, or (2) the person claims an interest relating to the subject of the action and is so situated that the disposition of the action in the person's absence may (i) as a practical matter, impair or impede the person's ability to protect that interest or (ii) leave any of the persons already parties subject to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations by reason of the claimed interest. Fed. R. Civ. P. 19(a).

Wife is a "necessary party" under this rule. Her substantial interest in the contract for the sale of the real estate will invariably be affected if the court declares the contract unenforceable. *See, e.g., Chiodo v. General Waterworks Corp.*, 380 F.2d 860 (10th Cir. 1967), *cert. denied*, 389 U.S. 1004. Similarly, her interest in the land is implicated by the action. If Developer establishes that

the contract is enforceable and valid, Developer effectively proves his equitable ownership of the land, and Wife's land interest will have been transferred. If Developer loses, then Wife's effort to transfer her interest in the land to Developer under the contract will be effectively thwarted. Moreover, Developer faces potentially inconsistent liabilities if Husband wins this case and Wife later sues to recover a portion of the purchase price. *See* Wright, Miller, & Kane, *supra*, at § 1621.

2. Joinder is not possible.

When the court joins Wife, it must determine her ultimate interest in the action and align her accordingly. Wife, of course, shares with Husband the position of owner of the land and obligor under the sales contract. However, her true position in the action is adverse to Husband's. She has a strong interest in seeing the contract enforced (to protect her "finder's fee") and she was a party to the alleged fraud against Husband.

In these circumstances, Wife is properly considered a defendant and her joinder would destroy diversity jurisdiction because she has the same state citizenship as Husband, the plaintiff. *See Schetter v. Heim*, 300 F. Supp. 1070 (E.D. Wis. 1969) (W, co-owner of real estate with H, should be joined as D in action alleging that W agreed with others to defraud H in sale of land), *noted in* Wright, Miller, & Kane, *supra*, at § 3607. Accordingly, the court cannot join Wife and must therefore decide whether to proceed without her or dismiss the action.

3. The action should be dismissed.

When a party with an interest in the action under Rule 19(b) cannot be joined without destroying the court's jurisdiction, the court must determine "whether in equity and good conscience the action should proceed among the parties before it, or should be dismissed, the absent person being thus regarded as indispensable." Fed. R. Civ. P. 19(b). In making this decision, the court must consider, among other factors, (a) the extent to which a judgment rendered without the party might prejudice the absentee or the existing parties; (b) whether the prejudice can be lessened or avoided by appropriately shaping the relief granted; (c) whether adequate relief can be granted without the absentee; and (d) whether the plaintiff has an adequate remedy if the action is dismissed for nonjoinder.

These factors compel dismissal in a case of this nature. Wife has interests in both the contract and the land that will be affected if the contract is rescinded. There would not appear to be any relief that the court could grant that would be both responsive to Husband's complaint and protective of Wife's interest. Moreover, if Developer wins the action, Developer cannot receive complete relief if Wife is not joined. It is always possible that Developer might face a later action by Wife to defeat the contract if Wife at some point changed her mind about the contract's desirability.

Husband, on the other hand, has an alternative forum in which to try this action: Husband can pursue his case in state court in State Z. Jurisdiction over Developer can easily be established (he resides in State Z) and Wife's ownership of the land in State Z provides an adequate basis for the

state courts to exercise jurisdiction over her in an action involving title to the land and a contract for sale of the land. A suit in state court would thus provide Husband with an adequate remedy. In cases of this sort, courts almost invariably dismiss the action rather than proceed in the absence of a necessary party. Numerous cases hold that “an action seeking rescission of a contract must be dismissed unless all parties to the contract, and others having a substantial interest in it, can be joined.” *Acton Co. v. Bachman Foods, Inc.*, 668 F.2d 76, 81-82 (1st Cir. 1982); *Naartex Consulting Corp. v. Watt*, 722 F.2d 779, 788 (D.C.Cir. 1983). Furthermore, when ownership of land is involved in an action, persons with interest in the land are almost always considered “indispensable parties” in part because “real property disputes are particularly suited to resolution by state courts.” *Doty v. St. Mary Parish Land Co.*, 598 F.2d 885 (5th Cir. 1979). See Wright, Miller, & Kane, *supra*, at § 1621 (1991 Pocket Part).

Point Two (45-55%)

State Z’s law should be applied to determine the enforceability of a contract for conveyance of land located in State Z. Because the contract is unenforceable under that law, the court should deny Developer’s motion to dismiss the complaint for failure to state a claim.

Developer’s motion to dismiss the complaint for failure to state a claim raises a choice of law issue. To determine the applicable substantive law, the federal district court must apply the choice-of-law rules of State Z (where it is hearing the action). The problem does not state what State Z’s choice of law rules are, so examinees should focus on providing some sensible analysis of this issue.

The traditional choice of law rule is that all issues affecting title to land are determined by the law of the situs of the land. Thus, in a case of this nature (a contract is negotiated and made in State Y for the sale of land in State Z), the law of State Z would determine the enforceability of that contract. See *Meylink v. Rhea*, 123 Iowa 310, 98 N.W. 779 (1904). Occasionally, a court will characterize a case of this sort as a contract case and apply the law of the place where the contract was made. But, generally, situs law governs the validity of contracts to convey land. See Restatement 2nd Conflict of Laws § 189.

Modern approaches to choice of law, however, would permit departure from this traditional rule if a state other than the situs state had a “more significant relationship” to the facts of the case or a greater interest in the outcome.” It is possible to argue on these facts, using either a “most significant relationship” analysis or an interest analysis, that State Y law should apply. State Y is the state where the contract at issue was negotiated and where the parties entered the contract. Both Husband and Wife are citizens of State Y and Developer journeyed there to negotiate the contract. Developer also made a substantial down payment on the contract in State Y. State Y’s law reflects a policy of protecting the expectations of land purchasers when they have made a down payment on the purchase price, even though the contract is not written. Arguably State Y has an interest in upholding the contract and protecting Developer, even though Developer is a State Z resident, because of its general interest in securing the integrity of transactions that occur within its borders. The policy of upholding the expectations of the parties would also generally point to an application of the law that would validate the contract. Indeed, were this a contract unconnected to land, its validity probably would be determined by the law of State Y given that

it was negotiated and made there, Husband and Wife live there, and the contract would be upheld as valid under that state's law. *See generally* Restatement 2nd Conflict of Laws § 188, comment b. State Z arguably has little interest in applying its statute of frauds to protect two non-residents (Husband and Wife) whose own home jurisdiction does not protect them.

Although attractive, the above analysis is not likely to be adopted by most courts. Examinees should receive credit for arguments of that type, but it is likely that most courts would adhere to the traditional rule that State Z's law determines the validity of contracts to convey land in State Z. The simple explanation for this is that State Z always has a strong, perhaps dominant, interest in any action that will affect title to its land. State Z is the only state that can, in the end, award title to anyone. Problems concerning title must ultimately be resolved in State Z, and State Z has a stronger interest than any other state in promulgating rules that govern questions concerning how and when and with what degree of formality legal actions affecting title should be taken. If State Z says that contracts to convey land must be written to be enforceable, that is not merely a policy statement affecting the private interests of the parties to that contract; it is a policy about the proper formalities to be used when actions are taken that affect title to land in State Z. It affects the rights and interests of the state and other parties in the event that title is ever put in question. In short, State Z is likely to have the most significant relationship to this issue, despite the strong connections with State Y. *See Cayce v. Carter Oil Co.*, 618 F. 2d 669 (10th Cir. 1980); *Denny v. Teel*, 688 P.2d 803 (Okla. 1984). *But see Matter of Penn Central Transp. Co.*, 471 F. Supp. 1354 (E.D. Pa. 1979).

Thus, unless State Z has a special choice of law rule that points to the law of the state of contracting (which is unlikely), the traditional rule would probably be followed by the court and State Z's law would be used to determine the validity of the contract. Under State Z's law, the contract is unenforceable. The motion to dismiss the complaint therefore should be denied.

SECURED TRANSACTIONS/SALES ANALYSIS

(Secured Transactions IV.G; Sales III.C)

ANALYSIS

Legal Problems:

- (1) Is the provision for Builder's payment of "all shipping and handling charges" a part of the contract between Builder and Seller?
- (2)(a) Does Seller have a security interest in the appliances?
- (2)(b) May Seller repossess the appliances when they have been installed in a building covered by a prior construction mortgage held by Bank?

DISCUSSION

Point One (40-50%)

Because the provision for payment of shipping and handling charges was an additional term that materially altered the offer made by Builder in its Purchase Order, the provision did not become part of the contract.

This is a classic "battle of the forms" problem. Builder's Purchase Order is an offer to buy appliances from Seller. Seller's Order Acknowledgment purports to accept the Purchase Order, but the printed terms on the back of the Order Acknowledgment add a provision that "... the buyer [Builder in this case] shall pay the seller the amount of all shipping and handling charges." The question is whether this new term is part of the contract. *See generally* Uniform Commercial Code § 2-207, comment 1.

Under the traditional common law "mirror image" rule, Seller's Order Acknowledgment would be a rejection of Builder's offer and a counteroffer because the Order Acknowledgment differs significantly from the offer. Builder's subsequent acceptance of the appliances would in turn be an acceptance by conduct of the counteroffer, and Seller would be entitled to recover its shipping and handling charges.

Under the Uniform Commercial Code, the result changes. The Order Acknowledgment, which on its face appears to accept the Purchase Order/Offer, would operate as an acceptance of the contract under UCC § 2-207, "even though it states terms additional to or different from those offered" UCC § 2-207(1). In this case, the provision for Builder's reimbursement of Seller's shipping and handling charges should be considered an additional term rather than a different term, as there is no indication that the Purchase Order itself addressed shipping and

handling charges in any way. *See Advanced Mobilehome Systems of Tampa, Inc. v. Alumax Fabricated Products, Inc.*, 666 So.2d 166,169 (Ct. App. Fla. 1995).

UCC § 2-207 (2) provides that “additional terms are to be construed as proposals for addition to the contract.” Additional terms become part of any contract between merchants unless (a) “the offer expressly limits acceptance to the terms of the offer”; (b) they materially alter it; or (c) notification of objection to them “is properly given.” In this problem, the question is whether the new provision materially alters the offer. Neither of the other bases for dropping it applies.

The Code does not define “materially alter,” but the comments to § 2-207 indicate that a clause will materially alter a contract if it changes the bargain in such a way as to “result in surprise or hardship if incorporated without express awareness by the other party.” UCC § 2-207, comment 4. A clause of this sort, which has the potential to significantly increase a buyer’s financial obligation under the contract, is probably a material change in the parties’ bargain. *See, e.g., Advanced Mobilehome Systems of Tampa*, supra, at 169; *Union Carbide Corp. v. Oscar Mayer Foods Corp.*, 947 F.2d 1333 (7th Cir. 1991).

On the other hand, payment of shipping and handling charges in addition to the stated price is a normal occurrence in many sales transactions. Thus, an argument might fairly be made that the disputed provision on the Order Acknowledgment should not be considered a surprising or hardship-inducing addition to the contract. One would also need to examine the usage in the trade. If it were shown that it is standard for the purchaser to pay shipping and handling, this would lead one to conclude that inclusion of the clause would not materially alter the contract.

Point Two(a) (10-20%)

The sales contract included a written security agreement signed by the debtor. The security interest attached when Seller delivered the appliances to Builder.

The Purchase Order stated that “Builder hereby grants Seller an unconditional security interest in any and all goods delivered under this contract. . . .” Nothing in Seller’s Order Acknowledgment, which was an acceptance of the terms of the Purchase Order, altered that provision. Thus, the provision for a security interest was part of the contract between the parties.

As a result, the three requirements of Article 9 for attachment of security interest were satisfied by this transaction. *See* UCC § 9-203(1). First, the debtor (Builder) must have “signed a security agreement which contains a description of the collateral.” UCC § 9-203(1)(a). No particular formalities are imposed in connection with this requirement. A security agreement is simply “an agreement which creates or provides for a security interest.” UCC § 9-105(1)(L). The sales contract would seem to fit this definition, and the Purchase Order, which continues the agreement’s key terms, was signed by Builder.

The second requirement for a security interest to be created is that value be given. Clearly, Seller gave value when it provided appliances to Builder. Finally, Builder must have rights in the collateral. Again, this requirement was satisfied when Seller transferred the appliances to Builder pursuant to the sales contract.

Point Two(b) (30-40%)

Seller may repossess the appliances only if they are not fixtures under local real estate law.

A secured party ordinarily has the right to repossess collateral that secures an obligation when the debtor is in default on the obligation, as is the case here. *See* UCC § 9-503. *See generally* James J. White & Robert S. Summers, Uniform Commercial Code § 25-8 (4th Ed. 1995).

However, Bank's presence as holder of a construction mortgage on the Eden Project may defeat Seller's repossession rights. The issue turns on whether the appliances became "fixtures" when they were installed in the Eden Project's condominiums.

The Code provides that "goods are 'fixtures' when they become so related to particular real estate that an interest in them arises under real estate law." UCC §9-313(1)(a). This provision leaves the determination of the status of goods as fixtures to the local real property law of the jurisdiction concerned. In most jurisdictions this is a fairly complicated property law issue, but the facts here give room for argument that the built-in dishwashers and ranges, which have probably been affixed to the realty, are fixtures and that the freestanding washers and dryers, which probably have not been affixed, are not fixtures.

a. Assuming the appliances are not fixtures.

If the appliances are not fixtures, Seller would have an absolute right to repossess them under UCC §§ 9-503 and 9-504. There are no competing creditors, secured or otherwise. Bank's interest is triggered only if the appliances are fixtures.

b. Assuming the appliances are fixtures.

If the appliances became fixtures upon their installation in the condominium project, then they are subject to Bank's construction mortgage, which covers "land and any improvements thereon" constituting the Eden Project. The question is whether the Bank's interest will preclude Seller from repossessing the collateral.

The relevant code provision, UCC § 9-313, has a complicated set of priority rules and restrictions on remedies for situations like these. Examinees should not be expected to know these rules in detail, but should be expected to discuss at least some of the key issues raised by these facts.

First, the Code generally makes security interests in fixtures subordinate to the interests created by prior construction mortgages. *See* UCC § 9-313(6). This priority for prior construction mortgage interests applies even as against purchase money lenders such as Seller, and it extends to mortgages securing "an obligation incurred for construction of an improvement on land including the acquisition cost of the land, if the reduced writing so indicates." UCC § 9-313(1)(C). On our facts, therefore, Bank has priority over Seller as to the appliances (if they are fixtures) because Bank holds a prior construction mortgage.

Second, it should be noted that Seller has never perfected its security interest. Quite apart from the construction mortgage rule, Seller's unperfected security interest in fixtures would be subordinate to any "conflicting interest of an encumbrancer... of the related real estate..." except in limited circumstances not applicable here. *See* UCC § 9-313(7).

Finally, the protection given by the Code to encumbrancers of real estate over holders of security interests in fixtures operates to limit the secured party's repossession rights. Under UCC § 9-313(8), a secured party who "has priority over all owners and encumbrancers of the real estate" is entitled, upon default, to "remove his collateral from the real estate." UCC § 9-313(8). This section does not describe explicitly the rights of the holder of a subordinate security interest in fixtures, but the negative implication of this section is that a secured party does not have a right to remove the collateral from real estate unless the secured party has priority over all real property interests. *See* White & Summers, *supra*, at § 24-11. Moreover, even if the secured party has priority over all real estate interests, the secured party must reimburse the real estate interests for any physical injury caused by removal of the fixtures.

The bottom line is that Seller will not be able to repossess the appliances if they are fixtures under real estate law. First, they are subject to a prior construction mortgage. Second, Seller's interest is unperfected and thus subject to all real estate interests, except in limited circumstances. Finally, repossession is not an option under UCC § 9-313(8) where there are real estate interests in the fixtures that are superior to the security interest.

FAMILY LAW ANALYSIS

(Family Law I.F, III.D, III.E, III.F, IV.A)

ANALYSIS

Legal Problems:

- (1) For a premarital contract to be valid, what are the general requirements and were they met in this case?
- (2) Is a court likely to hold the provisions involving property and/or support unfair?
- (3) Is the court likely to uphold the provision relating to child custody and support?

DISCUSSION

Point One (30-40%)

The premarital contract is valid because it is in writing, was voluntarily executed, and there was full disclosure.

Premarital contracts are generally valid if they meet three conditions: they are in writing, they are voluntary, and they are executed after full disclosure. The contract between Anna and Ben is in writing. On the issue of voluntariness, Anna will argue that her consent was not voluntary, as Ben drafted the agreement and refused to marry her unless she signed it. However, Anna did consult with her own attorney and refused to follow his advice not to sign it. The wedding was three months later, not the next day, so she had time to reflect. Under these circumstances, it is unlikely a court would hold that there was duress or coercion sufficient to invalidate the contract. Ben's attachment of his complete financial statement to the draft of the contract before Anna signed it would satisfy any requirement of full disclosure. Therefore, the premarital agreement is valid. The question does not state that Ben signed the agreement, nor does it address Anna's disclosure. However, since it is Anna challenging the agreement, this is not of particular importance although it may be recognized in some answers.

Point Two: (30-40%)

The terms of the contract regarding property and spousal support may be evaluated by a court in terms of fairness. However, courts are more likely to set aside provisions affecting support obligations than property settlements. A court may intervene to award Anna alimony.

Anna will argue that the provisions of the contract stating that all property should be held separately and that she should receive no alimony are fundamentally unfair. Almost all of the property is in Ben's name, although, absent the premarital agreement, under the marital property rules of all jurisdictions she would be entitled to make a claim with respect to the property that was earned after marriage, regardless of title.

Regarding spousal support, at the present time Anna has no independent source of income, has not worked for several years, and has two small children. She has very little property as well.

Although Ben will argue that Anna is bound by the terms of the contract, some courts would at least set aside the provision on spousal support under these circumstances. The support obligation is a traditional and essential part of marriage and divorce, and Anna apparently has the need (and Ben the ability) since she has no other means of support. H. Clark, *The Law of Domestic Relations in the United States*, § 1.9 (2nd ed. 1987).

On the other hand, if the jurisdiction follows the Uniform Premarital Agreement Act (UPAA), then the property distribution and alimony provisions are probably enforceable. Under the UPAA, a premarital agreement will be enforced unless (a) it was not executed voluntarily or (b) it was unconscionable when executed and there was a procedural defect with respect to disclosure of financial information. UPAA § 6, 9B U.L.A. 369. The agreement was executed voluntarily (as discussed above), and there is little, if any, evidence of procedural unfairness here. UPAA, *supra*, § 6. Therefore, at the time of enforcement, even though the provisions are obviously disadvantageous to Anna, and may even be unconscionable, they would not be set aside in these jurisdictions. The UPAA does allow (but does not require) a court to order alimony, notwithstanding a premarital agreement, if the spouse would otherwise become eligible for public support. *Id.*

A sub-issue of fairness is one of timing: should the agreement be reviewed for fairness as of the time of the execution of the contract or as of the time of enforcement? Some courts look to fairness at the time of execution of the contract; others to fairness at the time of enforcement. Ben would argue for fairness at the time of execution, when each had some property and Anna was making a good salary. The UPAA provides that unconscionability should be determined as of the time the agreement was executed. UPAA, *supra*, § 6a.

Anna of course would argue that fairness at the time of enforcement is the only realistic measure. It is ten years after the contract was signed. Circumstances have changed and Anna has a need for spousal support, which was not present at the time of execution. She left a well-paying job in order to stay home with the children. If a court is willing to look at fairness (or unconscionability) as of the time of enforcement, Anna is in a good position to have the provision set aside. However, in a jurisdiction which has adopted the UPAA, Anna will be unsuccessful.

Point Three (30-40%)

Provisions in premarital contracts concerning child custody and child support are probably unenforceable and, therefore, these sections of the contract would not be binding on a court.

It is highly unlikely that provisions in a premarital agreement regarding child custody and child support would be enforceable. Although the ability to contract with respect to child custody is not entirely clear in the UPAA, most courts would hold that child custody should be determined by the court according to the best interests of the child at the time of the divorce or custody hearing, rather than by agreement of the parties prior to marriage. Therefore, a court could and

probably would hold that it is not bound by a premarital custody provision. The court hearing Anna and Ben's divorce might decide that they should have joint custody, but this conclusion would be based on a consideration of the children's best interest, not because the contract so provided.

Finally, parents have an absolute obligation to support their children. The UPAA § 3 states that a child's right to support cannot be adversely affected by a premarital agreement. Moreover, federal law requires that each state have child support guidelines which set out a rebuttable presumption with respect to the amount of child support that will be ordered. Deviations from the guideline must be justified by the court through specific findings of fact. The conclusion regarding child support is clearly not enforceable.

CORPORATIONS ANALYSIS

(Corporations IX. A, X)

ANALYSIS

Legal Problems:

- (1)(a) Does a corporation have an obligation to investors in general to give full and truthful answers to questions about its plans with respect to potential mergers?
- (1)(b) Do investors who buy in reliance on incomplete and misleading statements have a cause of action against the corporation making such statements?
- (2) Do shareholders who were not traders in a corporation's stock have a cause of action, either direct or derivative, against the corporation or its officers and directors for false and misleading statements that result in liability of the corporation to other shareholders?

DISCUSSION

Point One(a) (30-40%)

A corporation has an obligation to investors in general to give full and truthful answers to questions about its plans with respect to potential mergers.

Under Rule 10b-5 of the 1934 Securities Exchange Act, a public or private corporation must disclose the material facts necessary in order to make its statements not misleading in light of the circumstances in which they were made. Here, the merger would be a material fact and Acquiror's statement would violate this law. Acquiror's statement that it did not have an agreement to acquire XYZ was at best misleading because it omitted the fact that there was a clear tentative merger agreement with XYZ and a further understanding that the final commitment to that agreement would come at the end of the waiting period.

The issue is whether Acquiror could do less than tell the entire truth once it undertook to respond to a question. Acquiror's statement was clearly incomplete and misleading because it omitted material information about the existence as well as the status of the negotiations between Acquiror and XYZ.

A fact is considered to be material if a reasonable person would think such information was important in determining a course of action, such as a purchase or sale of the corporation's securities. *SBC v. Texas Gulf Sulphur Co.*, 401 F.2d 833 (2d Cir. 1968). Information about a company's preliminary negotiations for a merger may or may not be material depending on the relative likelihood that the merger will be completed and on the size of the transaction compared

to the size of the company. *Basic, Inc. v. Levinson*, 485 U.S. 224, 108 S.Ct. 978 (1988). Here, it is clear that the negotiations were nearly final, and there is nothing in the facts to indicate that the size of the merger would be immaterial.

Information about the true status of a major purchase by Acquiror is material information. *TSC Industries, Inc. v. Northway, Inc.*, 426 U.S. 438 (1976). Moreover, in light of *Basic, Inc. v. Levinson*, 485 U.S. 224 (1988), the fact that full disclosure of the status of the negotiations might jeopardize the ultimate outcome of the pending transaction would not permit a misleading statement. In the *Basic* case, the Court suggested that a consistent policy of responding “no comment” to questions would protect the parties. However, in this case Acquiror chose to respond to the questions, and its answers implied that it had no discussions, and certainly had no nearly final merger agreement, with XYZ. The statement was highly misleading even if it was literally correct in a very narrow sense.

Point One(b) (30-40%)

Investors who buy or sell a corporation’s securities in reliance on incomplete and misleading statements by the corporation have a cause of action against the corporation for making such statements.

Investors who purchased Acquiror’s stock after the denial and before the announcement of the merger have a claim against Acquiror for their losses under Rule 10b-5. The investors would claim that their losses are the difference between the \$10 price that the investors paid due to Acquiror’s denial of the merger and the \$8 price at which the market valued the shares in light of the merger. Investors must show reliance of some type on the statements to establish a valid claim. Since the statement about Acquiror’s plans for XYZ was made publicly, investors have a claim whether or not they heard the statement or relied on it in deciding to buy Acquiror’s stock. Direct reliance is not essential; under the *Basic* decision, a public misstatement by a company that has publicly traded securities which alters the market price of those securities constitutes a “fraud on the market,” and all investors who purchased or sold stock are presumed to have relied on the misstatement. Therefore, the investors can claim damages even if they have not personally relied on the misstatement. However, if Acquiror can show that in fact the market price was unaffected by the misstatement or that the particular investor’s purchase or sale would have occurred regardless of market price, the presumption would be rebutted, and the investor would have no claim because the deception would not have caused any loss.

Point Two (30-40%)

A continuing shareholder who did not trade in a corporation’s stock has a derivative cause of action against the corporation’s officers and directors for false and misleading statements that result in economic loss to the corporation.

Continuing shareholders ordinarily have no direct claim against the corporation, since they have neither bought nor sold securities at the affected market price. *Blue Chip Stamps v. Manor Drug Stores*, 421 U.S. 723 (1975). However, it is also clear that the corporation has suffered a loss as a result of the liability that it will incur to those investors who did buy or sell its stock based on

misleading information. Acquiror, as a corporation, has a claim against its officers and directors who engaged in or approved of this misleading conduct as their conduct constitutes a breach of the duty of care under state law. Shareholders of Acquiror can bring a shareholder's derivative action, either individually or as a class action, against Acquiror to hold the officers or directors of Acquiror responsible for the misleading statements. *See generally Basic v. Levinson*, 485 U.S. 224 (1988). Any recovery from the responsible officers or directors would be paid to Acquiror for the benefit of all shareholders.

TRUSTS ANALYSIS

(Trusts I.I)

ANALYSIS

Legal Problems:

- (1) Did Sister breach her duty of loyalty to the trust when she bought the trust's ABC stock, and, if so, what remedies were available to Child for Sister's breach?
- (2) Did Sister breach her duty to act prudently by putting all of the trust's assets into Lo-Tech stock, and, if so, what remedy may Child pursue for any breach?
- (3) Did Sister breach her duty to act impartially by purchasing stock that paid high dividends with very little promise of appreciation, and if so, what remedy may Child pursue for the breach?
- (4) Did Sister misallocate dividends when she distributed the stock dividend to Wife?

DISCUSSION

Point One (35-45%)

Sister breached the duty of loyalty when she purchased the ABC stock from the trust for her own account. As a result, Child is entitled to a share of the gain accruing to Sister as a result of that breach.

A trustee's duty of loyalty prevents the trustee from purchasing trust property for the trustee's own account. *See* Restatement, Second, Trusts, § 170, comment (b); Bogert, *Trusts* (6th ed) at 344. This rule is based on the "well-known quality of human nature that it is extremely difficult, or perhaps impossible, for an individual to act fairly in the interests of others whom he represents and at the same time to consider his own financial advantage." Bogert, *Trusts* (6th ed) at 342. Before entering into a "self-dealing" transaction with the trust, the trustee is obligated to seek court approval. *See generally* Restatement, Second, Trusts, § 170, comment (f). In this case, Sister obtained no prior judicial approval of her purchase of the stock from the trust. Therefore, she breached her duty of loyalty.

Sister might argue that Child is entitled to no damages for this breach, asserting that Sister's self-dealing transaction benefitted the trust: Sister paid the trust \$ 100,000 for the ABC stock, while the best outside offer was only \$80,000. This argument fails, however, because Child is entitled to recover any profit made by Sister as a result of Sister's breach. Restatement, Second, Trusts,

§§ 205(b), 206. In this case, when Sister purchased the trust's ABC stock, she cemented her personal control over ABC Corporation. Buyer had offered \$400,000 for the combined shares of Sister and the trust; Sister refused this offer but bought the trust's share for herself. When Sister made this purchase, she actually realized an economic gain of \$220,000: the value of the combined shares (\$400,000) as reflected by Buyer's offer, minus the price she paid to the trust (\$100,000) and the value of Sister's own shares (\$80,000 on the market). Even if the court declines to award Child all of Sister's gain (the full \$220,000 premium) as a result of the self-dealing transaction, Child should at least be entitled to one-half of the combined value of the shares of \$400,000, since Sister and the trust each started with half of the total ABC shares. On this theory, Child should be entitled to \$ 100,000: one half of the total value of the shares ($V_i \times \$400,000$) minus the money the trust already received for its interest (\$100,000).

Child might also seek Sister's removal as trustee (Restatement, Second, Trusts, § 199(e)), but that remedy is not worth much because the trust is about to terminate.

Sister could also be required to return the ABC stock to the trust if the beneficiaries would prefer this remedy.

Point Two (15-25%)

Sister breached her duty to act prudently by putting all of the trust's assets into Lo-Tech stocks and Child would be entitled to recover any loss resulting from the failure to diversify the trust's investments.

A trustee is required to make only prudent investments for a trust. While Lo-Tech stock might generally be a prudent investment (although under the facts this may be debatable), a trustee is also 'undo* a specific duty to diversify the trust's investments (Restatement, Second, Trusts, § 228; Restatement of Trusts, Third, § 227(b); Unif. Prud. Inv. Act. § 3; *Mueller v. Mueller*, 28 Wis. 2d 26 (1965)) unless such duty is waived by the grantors. By placing all of the trust's assets into a single security, Sister acted improperly.

Child may not be able to recover the entire \$50,000 loss incurred as a result of the Lo-Tech purchase, because Sister might have been entitled to invest some trust assets in Lo-Tech. For example, if Sister was entitled, consistent with the prudent person investor rule, to invest \$10,000 rather than \$100,000 in Lo-Tech, Child would be entitled to recover 90% of the loss on Lo-Tech stock, or \$45,000. Restatement, Second, Trusts, § 228, comment (h), illustration (3).

Point Three (15-25%)

Sister breached her duty to act impartially by purchasing stock that paid high dividends with very little promise of appreciation.

A trustee is under a duty to deal impartially with the beneficiaries. Restatement, Second, Trusts, § 232 and comment (a); Restatement of Trusts, Third, § 232; *Dennis v. Rhode Island Hospital Trust Co.*, 744 F.2d 893 (1st Cir. 1984). Purchase of Lo-Tech, which paid high dividends at the expense of principal, when there were also no offsetting investments in the trust to provide

Trusts Analysis

benefits for Child, who ultimately was entitled to trust principal, was a violation of Sister's duty to Child as the remainder beneficiary. Sister's duty to Child would have permitted her to make such an investment only if she had adopted "accounting, investment, or other administrative practices reasonably designed to protect" the trust property's purchasing power, assuming the Lo-Tech investments were otherwise proper. *See* Restatement of Trusts, Third, §§ 239(a), 232, general comment c.

Child should be entitled to recover the amounts Child would have received had Sister made appropriate provision for protecting the remainderman.

Point Four (15-25%)

Sister misallocated dividends when she distributed the stock dividend to Wife and therefore, Child is entitled to recover the value of stock dividends paid to Wife that should have been added to trust principal for ultimate distribution to Child.

The Uniform Principal and Income Act requires that all dividends paid in stock be treated as principal. Uniform Principal and Income Act, § 6; *see also* Restatement, Second, Trusts, § 236(b). Therefore, by distributing the stock dividend to Wife, Sister breached her fiduciary duty to Child. As a result, Child should be entitled to recover the value of the shares distributed to Wife.

1999
MEE Questions
and Analyses

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Preface

This publication includes the questions and analyses from the February 1999 and July 1999 Multistate Essay Examinations. Each test includes seven questions; jurisdictions that use the MEE select the six questions their applicants will answer.

These model analyses to the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions for the sole purpose of assisting graders in grading the examination. These models are not an official grading guide. Some states grade the MEE on the basis of state law, and jurisdictions are free to modify the analyses, including the suggested weights given to particular points, as they wish. Grading of the MEE is the exclusive responsibility of the jurisdiction using the MEE as part of its admissions process.

The topic or topics covered by each question are listed on the first page of its accompanying analysis, followed by Roman numerals which refer to the subject matter outline for that topic. For example, Question 1 on the February 1999 MEE tested Commercial Paper III.C, Reacquisition (§ 3-207); IV.A, Person entitled to enforce (§§ 3-101 through 3-102); IV.B, Value and consideration (§ 3-103); and V.D, Drawee not liable on unaccepted draft (§ 3-408). Subject matter outlines are included in the MEE Information Booklet and can also be found at www.ncbex.org.

Description of the MEE

The MEE is a three-hour examination consisting of six questions. The examination is administered in one continuous three-hour time period. Applicants are expected to spend approximately thirty minutes answering each of the questions. The areas of law covered by the questions in the examination are: Agency and Partnership, Commercial Paper, Conflict of Laws, Corporations, Decedents' Estates, Family Law, Federal Civil Procedure, Sales, Secured Transactions, and Trusts and Future Interests. Some questions include issues in more than one area of law.

The purpose of the MEE is to test the applicant's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the applicant to demonstrate an ability to communicate in writing effectively.

Instructions

The back cover of each test form contains the following instructions:

Do not break the seal on this booklet until you are told to begin.

You will have three hours in which to write your answers to six of the seven questions contained in this booklet; you will be told which of the questions you are to answer. Each question is designed to be answered in thirty *minutes*. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise, simply draw a line through the material you wish to delete.

Read each fact situation very carefully and do not assume facts which are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show: an understanding of the facts; a recognition of the issues included; the applicable principles of law; and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Some jurisdictions instruct applicants to answer MEE questions according to the law of the jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

February 1999 MEE

► *QUESTIONS*

Commercial Paper
Agency and Partnership
Decedents' Estates
Federal Civil Procedure
Family Law/Conflict of Laws
Corporations
Secured Transactions

COMMERCIAL PAPER QUESTION

Trucker owned a truck insured by Insurance Co. (Insko) against loss by theft.

On January 2, Trucker reported the truck stolen and filed a claim for its value with Insko. The police were not able to recover the truck and, on February 2, Insko issued a draft in the amount of \$ 10,000 in settlement of the loss. The draft is a negotiable instrument, payable to the order of Trucker, and is drawn by Insko on itself, payable through Bank.

On February 3, Trucker negotiated the draft to Acme Motors in partial payment for a new truck. Trucker signed on the reverse side of the draft, "Pay to Acme Motors, Trucker."

On February 4, Acme Motors stamped on the reverse side of the draft "Pay to State Savings, Acme Motors." Later that day, Acme Motors and Trucker had a disagreement about the purchase of the new truck. They rescinded their sales contract, and Acme Motors returned the Insko draft to Trucker. Trucker immediately drew lines through both Trucker's February 3 indorsement and the language stamped on the draft by Acme Motors.

On February 5, Trucker again indorsed the draft by signing "Trucker" on the reverse side. He delivered it to Bank with instructions to apply it to a loan on which Trucker owed Bank \$20,000. Bank immediately applied the full amount of the \$ 10,000 draft to the indebtedness Trucker owed to Bank.

On February 6, Insko learned from the police that Trucker had received \$2,000 from Rob as part of a prearranged scheme between Rob and Trucker, in which Rob "stole" Trucker's truck and disposed of it.

On February 7, Bank presented the draft to Insko for payment, and the draft was dishonored. The draft is in the possession of Bank, which has timely given all necessary notices of dishonor. Trucker is insolvent.

Are Acme Motors and Insko liable to Bank on the draft? Explain.

AGENCY AND PARTNERSHIP QUESTION

In 1992, XYZ limited partnership was formed in Central State by the proper filing of all necessary documents. XYZ's limited partnership agreement provided that it would engage in the purchase and sale of rare uncut blue diamonds. The partnership agreement further provided that the agreement could be amended only by the affirmative vote of 60% of the limited partnership interests.

XYZ has one general partner, GemCorp (a properly organized corporation), and three limited partners, individuals named Bill, David, and Emily. The three limited partners hold equal percentages of XYZ limited partnership interests. GemCorp is wholly owned by Bill, who is GemCorp's only officer and director. Bill's ownership of GemCorp has been disclosed to David and Emily. All corporate formalities have been complied with in the operation of GemCorp.

In addition to being the general partner of XYZ, GemCorp operates a number of other businesses including one that purchases and sells rare gemstones. XYZ's limited partnership agreement includes a provision permitting GemCorp to engage in its other businesses without offering any business opportunities to XYZ. However, it is silent about whether GemCorp can enter into business transactions with XYZ.

From 1992 until January 1996, XYZ built a successful diamond business and was a profitable and harmonious enterprise for all of the partners.

In 1992, GemCorp purchased three virtually identical lots of uncut rare blue diamonds for \$ 1 million per lot from a well-known international dealer. In 1993, GemCorp sold one of the lots to an unrelated third party for \$2 million. In 1994, GemCorp sold the second lot for \$3 million to another unrelated third party. During 1995, vast quantities of uncut blue diamonds began to flood the market. By January 1996, the diamond market was in chaos and the price of uncut blue diamonds had dropped by 90%.

Shortly thereafter, GemCorp sold the third lot of uncut blue diamonds to XYZ for \$5 million.

Central State has adopted the Revised Uniform Limited Partnership Act (1976) with the 1985 amendments (the RULPA) and the Uniform Partnership Act (UP A).

1. On what basis, if any, could the XYZ limited partners challenge the actions of GemCorp in selling the blue diamonds to XYZ? Explain.
2. Are the claims of the XYZ limited partners against GemCorp derivative or direct, and what procedural steps, if any, must they take prior to bringing a claim? Explain.
3. What actions, if any, could GemCorp have taken before the sale to eliminate any potential liability it might have to the XYZ limited partners? Explain.
4. On what basis, if any, could Bill be found individually liable to the other limited partners for the sale of the blue diamonds to the partnership? Explain.

DECEDENTS' ESTATES QUESTION

Testator's validly executed will dated September 1, 1996, reads as follows:

I, Testator, being of sound and disposing mind, give:

1. All of my tangible personal property to Sister.
2. \$1,000 to Uncle, to be paid from my bank account at Bank.
3. \$5,000 to Friend.
4. 100 shares of ABC common stock to Brother.
5. The residue of my estate to Charity, a charitable organization.

At Testator's death, Testator's estate was valued at \$50,000. This included tangibles valued at \$1,000, Testator's bank account at Bank with a balance of \$750, and 100 shares of ABC common stock valued at \$20,000. ABC is a closely held corporation. Testator bought the 100 shares in December 1995. The balance of Testator's estate was held in publicly traded securities.

Testator died in an automobile accident resulting from Testator's negligence. The other party in that accident filed a claim against Testator's estate in the amount of \$28,000. This claim was duly allowed by the court having jurisdiction over the estate, and \$28,000 of the publicly traded securities were liquidated to pay the claim. There are no other debts, expenses, or taxes for Testator's estate.

Sister, Uncle, Friend, and Brother survived Testator. Uncle timely disclaimed any interest in the \$1,000 bequest. Uncle's child, Son, also survived Testator.

How should Testator's estate remaining after the payment of the \$28,000 claim be distributed among Sister, Uncle, Friend, Brother, Charity, and Son? Explain.

FEDERAL CIVIL PROCEDURE QUESTION

Laptop, Inc., a State X corporation, manufactures laptop computers at its principal place of business in State Y. Paul, a resident of State Z, purchased one of Laptop's computers while attending college in State Y. During summer break, Paul took his computer back home with him to State Z, where he has his permanent residence. Shortly after Paul returned home, the computer caught fire while Paul was using it to access Laptop's website. Paul was severely burned in the fire.

The fire was caused by a defective memory chip installed by Laptop during manufacture in State Y. The memory chip was manufactured by Chip, Inc., a company incorporated overseas in Country A.

Laptop sells 50% of its computers in State Y, 25% in State X, and 25% in State Z. It regularly advertises in the State Z market through computer magazines with national circulations. Laptop also maintains a website in State Y where customers can contact it to make purchases and obtain technical help when problems are encountered in the use of its products. The website is accessible to anyone with Internet access anywhere in the world.

Chip sends to Laptop in State Y all of the memory chips it exports to the United States. Laptop installs them in all the computers it manufactures. Chip has sold to Laptop \$5 million worth of memory chips per year for the last five years. Chip's income from memory chips sold to Laptop and installed in computers sold in State Z is less than 2% of its total annual income. Although Chip has never advertised in States X, Y, or Z and does not design its products specifically for those markets, Chip knew that its computer chips would be installed in computers sold in States X, Y, and Z.

Paul filed a lawsuit in federal district court in State Z against Laptop and Chip for personal injury damages of \$250,000 basing subject matter jurisdiction on diversity of citizenship. Paul alleged both negligence and strict product liability claims against both defendants. Laptop was served with process in State Y, and Chip was served in Country A. The State Z long-arm statute authorizes personal jurisdiction over nonresident defendants "on any basis not inconsistent with the United States Constitution."

Both defendants move to dismiss Paul's claims for lack of personal jurisdiction. Alternatively, they move to dismiss and/or transfer venue to the U.S. District Court in State Y, arguing that venue in the district court in State Z is improper.

1. Should the court grant Laptop's motion to dismiss Paul's claim for lack of personal jurisdiction? Explain.
2. Should the court grant Chip's motion to dismiss Paul's claim for lack of personal jurisdiction? Explain.
3. Should the court grant both defendants' motions to dismiss and/or transfer venue to the district court in State Y? Explain.

FAMILY LAW/CONFLICT OF LAWS QUESTION

Father and Mother, an unmarried couple, lived together in State X. Three years ago, Mother gave birth to Son. Shortly before Son was born, Father moved out of the house and has never supported or visited Son. Mother and Father have continued to live in State X. When Son was one year old, Mother decided that raising him alone was more than she could handle emotionally and financially. Mother placed him with the Adopters, a married couple from State Z. At that time, she signed a document relinquishing her parental rights and consenting to Son's adoption by the Adopters.

The Adopters, who were lifelong residents of State Z, picked up Son in State X and immediately returned to State Z with him. They promptly filed a petition to adopt Son in a State Z court. They did not give notice to Father, relying on statutes in State X and State Z that provide that notice of an action to adopt a child born out of wedlock does not have to be given to a putative father if the putative father (1) had actual knowledge of the birth or impending birth of the child and (2) failed to acknowledge paternity of the child, or to take any legal action to establish his claim to paternity of the child, or to exercise parental rights or duties with regard to the child within the first six months of the child's life. Eighteen months after the adoption petition was filed, the State Z court granted it and entered the final adoption decree.

Seven months after the final adoption decree was entered, Father learned that Mother had placed Son for adoption. In a State Z court, Father moved to set aside the adoption on the grounds that State Z lacked jurisdiction to grant the adoption or, alternatively, that the statute that allowed Son to be adopted without notice to Father violates Father's due process rights.

The adoption statute of limitations in State Z, where the Adopters reside and which granted the adoption, requires that challenges to adoptions be brought within six months after a decree is entered. The adoption statute of limitations in State X, where Son was born and where Mother and Father have always lived, provides that challenges to adoptions may be brought within one year of the time the decree is entered. Relying on the State Z statute of limitations, the Adopters moved to dismiss Father's motion as untimely. Father claims that the State X statute of limitations, which has not run, applies.

1. Which statute of limitations applies to Father's cause of action? Explain.
2. Did the court in State Z have jurisdiction to enter the adoption decree? Explain.
3. Did failure to give Father notice of the adoption deny him due process? Explain.

CORPORATIONS QUESTION

FurnitureCo has manufactured quality furniture for 20 years. It was incorporated under the Revised Model Business Corporation Act and its articles of incorporation and bylaws contain no provisions overriding the statutory provisions. FurnitureCo's articles of incorporation provide that the corporation can engage in any lawful business.

Adam owns 70% of the stock of FurnitureCo, and Diane and Edward each own 15%. The board of directors has five members: Adam; Adam's loyal children, Beth and Charles; and the two outsiders, Diane and Edward. Adam is the president of FurnitureCo, Beth is vice president, and Charles is secretary. Their duties are not specified in the bylaws. Neither Diane nor Edward is an officer.

Over the past few years, FurnitureCo's business has been flat, but marginally profitable. At its last regular board meeting, attended by Adam, Beth, Charles, and Edward, Adam presented a plan to diversify FurnitureCo's business, which included entering the tennis club business. Diane had been called out of town suddenly and was unable to attend the board meeting. After hearing Adam's presentation on the expanding opportunities in the sports field, the board voted 3 to 1 to direct Adam as president to "study and implement at his discretion a program for restructuring and/or reorienting the business operations of the company." It was Edward who voted against authorizing Adam to restructure the business.

After studying the matter, Adam decided that FurnitureCo's profits would be maximized by getting out of the furniture business altogether, selling all of its current assets, and using the sale proceeds and the cash on hand to buy a tennis club. On his own initiative and without anyone else's approval, he then scheduled an auction for next month to sell all of FurnitureCo's existing assets.

Diane and Edward were sure that Adam's plan would ruin the business, so they visited Adam in his office to tell him that they disagreed with his plan and to demand that he cancel the auction. Adam told them that he did not need their approval to implement his plan and ordered them to leave his office.

1. Does Adam have sufficient authority as president to change FurnitureCo's business and to sell its existing assets? Explain.
2. Could Adam, Beth, and Charles lawfully act together to approve and implement the change in the business and the sale of assets without the participation of Diane and Edward? Explain.
3. Assuming that Diane and Edward cannot block the sale, do they have any other remedies? Explain.

SECURED TRANSACTIONS QUESTION

On April 1, Debtor bought a used car from Smith Motors for his personal use. Debtor financed the sale with Smith Motors. The cash price was \$16,500, and the credit service charge (total interest payments for the life of the loan) was \$4,000. Debtor made a \$500 down payment and agreed to pay the remaining \$20,000 in 24 monthly payments. At the time of the purchase, Debtor executed a sales contract and granted a security interest in the car to Smith Motors. Smith Motors properly perfected that security interest.

After making only one monthly payment, Debtor defaulted on the contract. Following a peaceful repossession, Smith Motors decided to sell the car at auction on August 15. At that time, the unpaid balance of principal and accrued interest was \$ 17,000. Smith Motors contacted a few dealers but did not advertise the auction.

On August 12, Smith Motors mailed notice of the August 15 auction by regular mail to Debtor at his home address. The notice arrived on August 14, one day before the auction. On August 15, the car was sold at auction for \$ 10,000, which was well below the car's market value of \$ 14,000. The only bidder at the auction was a dealer who specialized in repossessed vehicles.

Smith Motors has sued Debtor for the deficiency of \$7,000 between the unpaid contract price and the amount for which the car was sold.

1. On what theories and in what amounts may Debtor recover damages from Smith Motors under the Uniform Commercial Code? Explain.
2. Is Debtor liable to Smith Motors for any part of the \$7,000 deficiency? Explain.

July 1999 MEE

► *QUESTIONS*

Trusts and Future Interests
Agency and Partnership
Federal Civil Procedure/Conflict of Laws
Family Law
Commercial Paper
Decedents' Estates
Corporations

TRUSTS AND FUTURE INTERESTS QUESTION

Testator bequeathed her residuary estate “to Trustee, as trustee,” on the following terms:

I direct Trustee to distribute the income from the trust to my son, Adam, until he reaches the age of 30. In addition, I authorize Trustee to invade the principal of the trust if, in its absolute discretion, it deems it necessary to provide for Adam’s education. At Adam’s 30th birthday, I direct Trustee to terminate the trust and to distribute the trust principal equally between my two children, Adam and Betsy.

When Testator executed her will, her estate was large enough so that her residuary estate would have been valued at \$800,000. However, business reverses during the two years between execution of the will and Testator’s death reduced the value of the residuary estate to \$300,000. Testator died last year survived by her husband, Husband, by their son, Adam, and by Betsy, Testator’s daughter from a prior marriage.

Adam is currently 23 years old, has no assets other than the interest in the trust, and has just entered dental school.

Husband has an annual income of \$80,000 and assets of \$400,000. Last month, Husband loaned Adam \$25,000 to pay tuition at dental school.

The trust income is currently \$ 18,000 per year, which Adam uses to pay for rent and food. Adam now asks Trustee to invade the trust principal to permit Adam to purchase a \$50,000 automobile and to repay the \$25,000 tuition loan from Husband.

1. Should Trustee invade the trust principal to enable Adam to purchase the automobile? Explain.
2. Can Trustee refuse to invade the trust principal to enable Adam to repay the loan he received from Husband? Explain.
3. If Trustee distributes trust principal to Adam to enable him to purchase the automobile, what are the rights and liabilities of Trustee, Adam, and Betsy? Explain.

AGENCY AND PARTNERSHIP QUESTION

Susan is a talented furniture restorer. Benjamin is a wealthy furniture collector who enjoys buying and selling furniture. Benjamin and Susan agreed to form what they called a “limited partnership.” Benjamin would be the limited partner, would contribute \$50,000 for working capital, and would contribute an additional \$100,000 if needed. Susan would be the general partner, with full authority to buy, restore, and sell furniture, using her own well-equipped workshop and custom tools. They would split the profits as follows: 70% to Benjamin and 30% to Susan until Benjamin received an amount equal to his \$50,000 capital contribution plus interest at 11%. Thereafter, the profits would be split 50%-50%.

Benjamin and Susan did not put their agreement in writing or take any other action to formalize it. Benjamin gave Susan \$50,000 for the business, and Susan purchased, restored, and sold furniture. After six months of allocating distributions under the 70%-30% formula, Benjamin was repaid his total \$50,000 capital contribution and accrued interest. Thereafter, profits were split 50%-50%.

The business has now become so successful that Susan will not need any additional capital from Benjamin. The business has \$8,500 in its bank account and has no outstanding debts.

Susan has told Benjamin that she wants to end their business relationship. Benjamin claims that Susan has no right to dissolve the business just as it begins to produce profits. He further claims that if Susan does end the relationship, she must pay him 50% of the cash in the bank account, his share of the goodwill, and an amount equal to 50% of the value of her tools. The tools, which were Susan’s before she entered into the agreement with Benjamin, are worth \$50,000, and Benjamin asserts that they are assets of the business. Susan denies that Benjamin is entitled to a share of the goodwill, if any, or to 50% of the value of the tools.

1. Was Benjamin and Susan’s business relationship a general partnership, a limited partnership, or neither? Explain.
2. Does Susan have the right to end her business relationship with Benjamin? Explain.
3. Assuming Susan has the right to end the business relationship, how should Benjamin’s claims be resolved? Explain.

FEDERAL CIVIL PROCEDURE/CONFLICT OF LAWS QUESTION

A few years ago, the legislature of State A passed the following statute:

The owners of lots fronting on public sidewalk areas between the property line of the lot and the street line shall repair and maintain those areas at their own expense; failure to do so will result in an assessment against the property for the city's cost in making those repairs.

In the few cases that have arisen under this statute, the trial judges of State A have taken diametrically opposed positions as to its impact on tort cases arising from dangerous conditions in sidewalk areas. Some State A courts have concluded that the statute changes the common law by shifting from the city to the abutting landowner all liability in tort for any injury to a pedestrian caused by a dangerous condition anywhere in the sidewalk area. Other State A trial judges have interpreted the statute merely to obligate abutting landowners either to repair any dangerous condition themselves or to reimburse the city for the cost of doing so, but not to impose on them tort liability for personal injuries. The appellate courts of other states with similar sidewalk-repair statutes also are divided as to its effect. The Supreme Court of State A has yet to rule on a case involving the scope of the statute.

Defendant has long owned and occupied a bungalow on Main Street in the State A city of Suburbia. Main Street is a paved residential street with curbs running the full length of each side. Between Defendant's property line and the street is a "sidewalk area" consisting of a sidewalk, a 10-foot-wide grassy area (called a "parking strip"), and the curbing for the street. This entire area is a "public sidewalk area" within the meaning of the statute quoted above. Suburbia holds title to the street, curbs, parking strip, and sidewalks on Main Street.

Late one winter evening, Plaintiff, at all times a resident and citizen of State B, traveled by taxi to attend a gathering at the home of Defendant's next-door neighbor, Todd. Because two autos were already parked in front of Todd's residence, the taxi driver let Plaintiff out at the curb in front of Defendant's house. After taking a half-dozen steps in the direction of Todd's house, Plaintiff stepped in a leaf-covered six-inch hole in the parking strip area, which caused her to fall and fracture her hip.

Plaintiff sued Defendant for \$250,000 in a federal court in State A. The complaint alleged that the hole was located in a part of the parking strip that abutted Defendant's property. At the week-long jury trial of the case, the testimony was in sharp conflict as to the location of the hole. Some witnesses asserted that it was in front of Defendant's property; others insisted that it was actually in front of Todd's property. Except for this conflict in the testimony, Defendant did not contest Plaintiff's proof of the elements of her case. At the conclusion of all the evidence, Defendant moved for judgment as a matter of law. In support of this motion, Defendant argued that, even if the hole was in an area abutting his lot, the sidewalk-repair statute did not impose upon owners any tort liability for injuries to others from dangerous conditions in the publicly owned parking strip in front of their lots.

The federal district court has taken Defendant's motion under consideration. The court believes that the sounder interpretation of such a "sidewalk-repair" statute would be that it does impose

Federal Civil Procedure/Conflict of Laws Question

tort liability on abutting owners. However, it also has concluded, from a study of decisions by the State A Supreme Court construing other statutes, that when the issue of the scope of the sidewalk- repair statute eventually reaches that court, it will probably decide that it does not impose tort liability on abutting owners.

1. Is Defendant entitled to judgment as a matter of law? Explain.
2. Assuming Defendant is entitled to judgment as a matter of law, should the judge defer ruling for Defendant until after the jury renders its verdict? Explain.

FAMILY LAW QUESTION

Alice, a financial consultant, and Ben, an engineer, began living together six years ago in a state that allows common-law marriage. Alice and Ben were generally known as a couple, and they adopted Smith as their last name. They never formally married. They do not believe in marriage, a fact that is generally known in their community.

Alice and Ben earned approximately equal salaries during their relationship. They deposited their paychecks into a joint bank account from which they paid all their expenses. They never spent all their salaries, and Alice offered to invest the excess “for our retirement.” Ben, who much preferred to tinker in his workshop than to read the newspaper’s financial pages, gladly agreed. During the years they lived together, Alice withdrew \$50,000 from their joint bank account and invested it in securities titled solely in her name. The investments are now worth \$200,000.

Ben recently received a patent in his name on a device that he invented and developed with his own labor while living with Alice. Ben is negotiating with a company interested in manufacturing the device and believes that rights to the device may eventually be worth several million dollars.

Three months ago, Alice gave birth to a child, Carol. Ben does not deny that he is Carol’s biological father. Alice admits that she conceived Carol after she stopped using birth control pills without telling Ben, even though Ben had always made it clear that he did not want children. Ben is so angry at Alice that he has moved out. Ben believes that he should not have to contribute to Carol’s support because Alice tricked him into fatherhood.

Ben demands that Alice give him half of the securities that she purchased with their savings. Alice believes that she is entitled to a share of any money Ben makes from his invention.

1. Is Ben obligated to contribute to Carol’s support? Explain.
2. On what theory or theories might Ben assert a right to a share of the securities and might Alice assert a right to a share in the profits from the invention, and what is the likely result on each theory? Explain.

COMMERCIAL PAPER QUESTION

Andy wanted to install siding on his house. Barbara agreed to do the work for \$10,000 and to accept as payment a \$10,000 note that would come due on October 1. Andy issued the note to Barbara on August 1 using a form note that he bought at a stationery store. Assuming that Barbara would complete the form in accordance with their agreement, Andy did not fill in two parts of the form: the due date and the amount to be paid. He did, however, sign the note and insert Barbara's name in the space following the words "I promise to pay to the order of."

After Barbara took the note, she typed \$20,000 in the blank space reserved for the amount instead of the \$10,000 to which she and Andy had agreed. Barbara did not bother filling in the empty space for the due date. On August 15, Barbara properly indorsed the note and sold it to Carl for \$19,000. When Carl took the note, he was unaware of the alteration and had no notice of any other claims or defenses to the note.

On August 20, Carl presented the note to Andy and demanded that Andy pay him \$20,000. Andy explained to Carl that he had agreed to pay Barbara only \$10,000 and that, in any event, he and Barbara agreed that the note would not be due until October 1.

1. Can Carl enforce the note against Andy for \$20,000? Explain.
2. Can Carl enforce the note against Andy before October 1? Explain.

DECEDENTS' ESTATES QUESTION

Tom and Wanda were married and had a child, Anna. After Wanda died, Tom had a nonmarital relationship with Nancy, who had a child, Bill, from a prior marriage. At the time the relationship between Tom and Nancy began, Anna was 12 and Bill was 17. Three years after the relationship between Tom and Nancy began, they had a child, Chris. Shortly thereafter Nancy was killed in an automobile accident. Tom continued to raise all three children as his own but took no steps to adopt Bill. Although he acknowledged he was Chris's father, he took no steps to establish his paternity judicially.

During the 20 years following Nancy's death, the relationship between Tom and Anna soured, but Tom's relationships with Bill and Chris blossomed. Eventually, Tom came to have little to do with Anna. Last year, things came to a head. At Thanksgiving dinner, Tom handed each of the children a check in the amount of \$50,000. Each check was accompanied by a personal handwritten note signed by Tom. The note to Anna read: "You have been a constant disappointment to me over these years. Take this but expect no more from me." The notes to Bill and Chris, which were identical, read: "You have been a wonderful child to me. Use this gift well. I love you very much."

Four months ago, Anna died survived by her son, Danny. One month later, Tom died intestate leaving a probate estate of \$250,000. Tom was survived by Bill, Chris, and Danny.

A state statute provides that property descends to issue if the intestate has no surviving spouse. It defines "children" as children born during marriage, adopted children, and children born out of wedlock, provided paternity is established judicially or is otherwise recognized by the father. State law prohibits holographic wills.

How should Tom's estate be distributed? Explain.

CORPORATIONS QUESTION

Carl decided to form a corporation to provide various support services to small businesses on a contract basis. After several months of searching, Carl found suitable office space in an office park that he thought was ideal for his future corporation. Leaseco was willing to rent the office space at a very favorable rate but only if the lease could be signed immediately. Although Carl had not taken any-steps to incorporate, he began negotiations with Leaseco for the lease. Carl told Leaseco that the lease was on behalf of a corporation that would be formed, to be called Small Service Corporation (SSC), and that Carl would be president of SSC. Carl signed a two-year lease with Leaseco for the office space at the favorable rate. The parties named in the lease were Leaseco and SSC. Carl signed the lease as “Small Service Corporation, a corporation to be formed, by Carl, President.” The following week, Carl moved his equipment and supplies into the office space and began business operations.

Two weeks after the lease was signed, Carl properly incorporated SSC. The articles of incorporation named Carl and two other individuals, David and Ellen, as the initial directors of the corporation, and the directors properly elected Carl as president.

At the first meeting of the board of directors, Carl provided David and Ellen with copies of the Leaseco office lease. SSC printed corporate letterhead with the address of the leased office space and began making monthly lease payments to Leaseco. SSC’s business was an immediate success and after nine months of operations it began to show a profit. Because of the initial success of the business, Carl, David, and Ellen needed to hire additional personnel. However, the office space leased from Leaseco was too small for any expansion. The directors unanimously voted to terminate the Leaseco lease before the end of its term. Then they entered into a lease with Rental, Inc. for a larger space, vacated the Leaseco premises, and refused to pay any further rent to Leaseco.

Several months after SSC began operations, at a regularly scheduled meeting of the board of directors for which all proper notice was given, Carl proposed that SSC contribute 4% of SSC’s profits earned since incorporation to a local charity that operates a nonprofit job training program. Carl and David voted to approve the resolution; Ellen voted against it. The SSC articles of incorporation have no provisions dealing with the power of the corporation to make charitable contributions.

1. Is Carl personally liable on the Leaseco office lease? Explain.
2. Is SSC liable on the Leaseco office lease? Explain.
3. Does SSC have the power to make the charitable contribution? Explain.

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ANALYSES

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COMMERCIAL PAPER ANALYSIS

(Commercial Paper III.C, IV.A, IV.B, V.D)

ANALYSIS

Legal Problems:

- (1) What is the effect of the cancellation of a subsequent indorsement by a former holder who reacquires the instrument?
- (2) What is the effect of the reacquisition of an instrument by a former holder on the power to negotiate the instrument again?
- (3) When does a collecting bank give value for the purpose of becoming a holder in due course?

DISCUSSION

Point One (50-60%)

The effect of the cancellation of a subsequent indorsement by a former holder who reacquires the instrument is that the instrument again becomes payable to the order of the reacquirer and the obligation of the indorser is discharged.

Insko issued a draft on itself and therefore is obligated to pay the instrument in the amount of \$10,000. Uniform Commercial Code § 3-412. Because the draft is drawn on itself, Insko's liability is the equivalent of the maker of a note rather than the drawer of a draft. UCC § 3-412, comment 1. This obligation is owed to a person entitled to enforce the instrument as defined in UCC § 3-301.

Trucker, by signing the instrument, and Acme Motors, by stamping the instrument (which is a signature per UCC § 3-401 (b)), have each incurred the obligation of an indorser. *See* UCC § 3-415. Their obligations are likewise owed to a person entitled to enforce the instrument, but their liability will not arise unless there has first been a dishonor, which has occurred.

When Trucker first received the draft, Trucker was a "holder" pursuant to UCC § 1-201(20) as the draft was payable to an identified person (Trucker) and the identified person (Trucker) was in possession of the draft.

Trucker negotiated the draft to Acme Motors by indorsing the draft "Pay to Acme Motors, Trucker" and delivering it to Acme Motors. UCC § 3-204. This constituted a special indorsement under UCC § 3-205 and the draft could be negotiated further only by indorsement of Acme Motors. The effect of Acme's indorsing the draft "Pay to State Savings, Acme Motors" was to make a special indorsement, and the draft could normally be negotiated further only by the indorsement of State Savings. UCC § 3-205(a). (At this point, no one is a holder because the draft is in the possession of Acme Motors but is payable to State Savings.)

However, UCC § 3-207 provides that upon reacquisition by a former holder (Trucker) by negotiation or otherwise, the former holder (Trucker) may cancel the indorsement of Acme Motors. When Trucker struck out both Trucker's indorsement and that of Acme Motors, the effect was to cause the instrument to be payable to the order of the reacquires Trucker, as the original payee. UCC § 3-207.

When Trucker struck out the indorsement of Acme Motors, Acme Motors' indorser's obligation was discharged (UCC § 3-604) and this discharge is effective against any subsequent holder, which, in this case, means Bank. UCC § 3-207. And since the cancellation by Trucker would be obvious to any subsequent taker, there would be notice of the discharge, thus the discharge of Acme would be effective as a defense against Bank even if Bank is, or has the rights of, a holder in due course. UCC § 3-207, official comment, UCC §§ 3-302(b), 3-604.

Point Two (15-25%)

Upon reacquisition of an instrument, a former holder has the power to further negotiate the instrument.

When Trucker first reacquired the instrument from Acme Motors, Trucker was not a holder in Trucker's own right. At that time, Trucker would have been able to transfer but perhaps would not have been able to negotiate the draft because it was still indorsed by Trucker to Acme Motors and then by Acme Motors to State Savings. However, when Trucker struck both indorsements, they were canceled and caused the instrument to be payable to the order of Trucker again. UCC § 3-207.

Therefore, Trucker, the "reacquirer, may negotiate the instrument." UCC § 3-207.

Point Three (15-25%)

Bank gave value when it accepted the draft in satisfaction of a debt owed by Trucker. Therefore, Bank was a holder in due course against which Insko has no defense.

Trucker was able to negotiate the draft by indorsement as it was still order paper. Moreover, because Trucker indorsed and delivered the draft to Bank in satisfaction of a debt and Bank applied the amount against an indebtedness of Trucker, Bank has given value. UCC § 3-303(a) (3). Because there are no facts to indicate otherwise, Bank has apparently taken the draft in good faith and without notice of any claim or defense to it. Bank is the holder in due course. Insko's defense against Trucker (fraud in the inducement, as opposed to fraud in the factum) is a personal defense and, as such, is not assertable against Bank. UCC §§ 3-302, 3-305. Accordingly, Insko must pay the instrument according to its terms at the time it was issued.

AGENCY AND PARTNERSHIP ANALYSIS

(Agency and Partnership VIII.D, X.A)

ANALYSIS

Legal Problems:

- (1) Has a general partner of a limited partnership violated its duty of loyalty to the limited partners by entering into an interested transaction between itself and the limited partnership on terms less advantageous to the partnership than an arm's-length transaction would have been?
- (2) Is the limited partners' claim of a general partner's breach of loyalty a derivative or a direct claim and, if derivative, what procedures must they follow to pursue that claim?
- (3) Before the interested transaction occurs, can a general partner shield itself from liability by convincing the limited partners to amend the limited partnership agreement to expressly permit it to engage in interested transactions with XYZ by making full disclosure about the potential sale and obtaining the consent of the disinterested limited partners?
- (4) Is an individual who is the sole officer, director, and shareholder of a corporate general partner also deemed to be a general partner of XYZ and therefore liable for any actions taken by the corporate general partner?

DISCUSSION

Point One (30-40%)

GemCorp's sale of the third lot of uncut blue diamonds was an interested transaction and a breach of GemCorp's duty of loyalty to the limited partners of XYZ because the price paid to GemCorp by XYZ was unfair.

A general partner of a limited partnership has a fiduciary duty to the limited partners of the partnership similar to that which a partner of a general partnership has to the other general partners. Revised Uniform Limited Partnership Act § 403(b). This fiduciary duty includes a duty of loyalty that historically is measured at a high standard. *See* UP A § 21 (partner accountable as a fiduciary to other partners); *Clement v. Clement*, 436 Pa. 466, 468, 260 A.2d 728-729 (quoting *Meinhard v. Salmon*, 249 N. Y. 458 (1928)). Generally, where a partner has a conflict of interest, he is obligated to resolve the conflict in favor of the partnership or to fully disclose the conflict and get the consent of the other partners. Reuschlein & Gregory, *The Law of Agency and Partnership* § 188 at 279 (2d ed. 1989).

In this case, all partners in XYZ knew when the limited partnership was formed that GemCorp was in the business of buying and selling rare gemstones. The partners agreed in the partnership agreement that GemCorp would have the right to continue its gem business without offering XYZ any business opportunities. Therefore, GemCorp's purchase of the three lots of diamonds

and its sale of the first two lots to unrelated third parties was not a breach of its fiduciary duties to XYZ.

However, since the XYZ limited partnership agreement did not expressly permit GemCorp to engage in business transactions with XYZ, GemCorp had a conflict of interest between its duties to XYZ and the limited partners and its own self-interest when it sold the third lot of diamonds to XYZ.

David and Emily, as limited partners, could challenge the diamond sale to XYZ on the ground that it was a breach of GemCorp's duty of loyalty. They would argue that it was an interested transaction and the terms of the sale were unfair. Since Bill controls GemCorp, which is accused of the wrongdoing, Bill could not join with the other limited partners in the challenge. GemCorp will have the burden of demonstrating that the terms of the transaction are fair, such as would be negotiated by the parties to an arm's-length transaction, unless it has obtained prior consent of the other limited partners. (See Point Three below.) In this situation, no grounds are provided which would support a defense by GemCorp that the terms of the sale were fair to XYZ.

Point Two (10-20%)

The limited partners' potential claim against GemCorp for breach of fiduciary duty is a derivative claim and subject to the procedural requirements for derivative claims, such as a demand on the general partner.

The limited partners' claim is a derivative claim because the loss they suffer is derived from any loss suffered by XYZ. If GemCorp has overcharged XYZ for the third lot of diamonds, this will reduce the value of the assets held by XYZ. Injury to the limited partners would be due to the resulting decrease in the value of their interests in XYZ.

A limited partner has the right to bring a derivative claim. However, the limited partner must be a partner both at the time of the conduct that is being challenged as well as at the time it files the lawsuit. RULPA § 1002. Further, the limited partner must plead with particularity that it has made demand on the general partner to bring the action or that the "effort to cause the general partners to bring the action is not likely to succeed." RULPA § 1001. Here, the limited partners are partners at the time the suit is brought and were partners when XYZ purchased the lot of blue diamonds from GemCorp. In addition, the limited partners can probably satisfy this procedural requirement if they plead demand futility, because the claim arises from illegal actions by the general partner.

Point Three (20-30%)

If GemCorp had made full disclosure to the disinterested limited partners of all the relevant details concerning its sale to XYZ of the third lot of diamonds before the sale, then GemCorp would not have been liable for the transaction with XYZ.

GemCorp's sale of the blue diamonds to XYZ was not per se improper. Unless limited by the partnership agreement, a partner has the same rights to transact business with the limited partnership as any person who is not a partner. RULPA § 107. The XYZ limited partnership agreement is silent on whether GemCorp may engage in business transactions with XYZ. The absence of an express provision would permit GemCorp to engage in transactions with XYZ.

However, GemCorp's fiduciary duties to XYZ require that those transactions be on arm's-length terms. Reuschlein & Gregory, *The Law of Agency and Partnership* § 188 at 279. Since the terms of GemCorp's sale to XYZ were much more favorable to GemCorp than GemCorp would have received in an arm's-length transaction, the transaction was improper.

However, GemCorp could have eliminated its liability from the sale to XYZ of the blue diamonds for such a high price if, prior to the sale, it had disclosed the terms of the sale to the limited partners and obtained their consent either (1) to amend the limited partnership agreement to allow GemCorp to engage in transactions with XYZ on terms more favorable to GemCorp than it could have obtained in an arm's-length transaction; or (2) to consent to this particular transaction between GemCorp and XYZ on more favorable terms. In either case, all of the partners would have been put on notice of GemCorp's right and sale by GemCorp to XYZ would have been proper. Reuschlein & Gregory, *The Law of Agency and Partnership* § 188 at 279 (2d ed. 1989). (Note that a vote by the limited partners on a transaction between the limited partnership and its general partner does not expose the limited partners to any risk that they are controlling the business of the partnership. RULPA § 303(b) (6) (vii).)

The limited partnership agreement provides that it can be amended by a 60% vote of the limited partners. Bill is interested in the contemplated transaction and therefore should abstain from voting to amend the limited partnership agreement. The other limited partners have the power to approve the proposed change. However, if GemCorp wants to avoid later charges by the limited partners that they were deceived into voting in favor of the amendment, it would need to make full disclosure to the limited partners of the terms of the sale by GemCorp to XYZ of the third lot of uncut diamonds before the transaction was entered into.

Point Four (10-20%)

Bill would not be liable merely due to his position as sole shareholder, director, and officer of GemCorp, but may be liable because he caused GemCorp to breach its fiduciary duties to XYZ.

Bill is the sole owner of, and controls, GemCorp, the general partner of XYZ. As such, Bill effectively controls the business of XYZ in his capacity as corporate officer and shareholder of the general partner.

In cases relating to claims of third parties, in contrast to claims of the limited partners, courts have split on whether such control over the general partner will transform the liability of a limited partner into the unlimited liability of a general partner. *See Western Camps, Inc. v. Riverway Ranch Enterprises*, 70 Cal. App. 3d 714, 138 Cal. Rptr. 918 (1977) (Where court found the limited partner to be not liable). *But see Delaney v. Fidelity Lease Limited*, 526 S.W.2d 543 (Tex. 1975) (Where court held the limited partner liable as a general partner). However, RULPA expressly states that, with respect to claims by third parties, a limited partner will not be subject to the unlimited liability of a general partner solely by being an officer, director, or shareholder of a corporate general partner of the limited partnership. RULPA § 303(b) (1). The statute does not address whether this result would change if the claim were made by a limited partner rather than a third party. However, unless the limited partners were unaware of the ownership and control by a limited partner over the general partner, the better reading would follow the same rule as for third party claims under RULPA § 303, and the related cases. Since the other XYZ limited partners knew of the relationship between Bill and GemCorp, Bill should not have any

personal liability as a general partner of XYZ by reason of his ownership and control of GemCorp.

It is possible to argue that Bill would be personally liable on the theory that an officer of a corporation who commits a tort is personally liable to injured third parties. *See Washington Gas Light Co. v. Hansden*, 172 U.S. 534; *Shingleton v. Armor Velvet Corp.*, 621 F.2d 180 (5th Cir 1980). In this case, Bill was the corporate officer who caused GemCorp to breach its fiduciary duties to XYZ limited partnership.

DECEDENTS' ESTATES ANALYSIS

(Decedents' Estates II.I)

ANALYSIS

Legal Problems:

- (1) Generally, what is the order of abatement among general, specific, demonstrative, and residuary bequests?
- (2) Is the bequest to Uncle general, specific, or demonstrative for purposes of abatement?
- (3) Should the bequest to Uncle that does not abate, if any, pass to Uncle's son who survives Testator or as a part of the residuary bequest?
- (4) Is the bequest of the ABC common stock general or specific for purposes of abatement?

DISCUSSION

Point One (20-25%)

Typically, when assets of an estate are insufficient to pay all claims against the estate, the bequests abate in the following order to pay claims: residuary bequests, general bequests, and specific bequests. Bequests charged to a specific fund for their source of payment are specific to the extent of the fund: to the extent they exceed the fund, they are general.

Beneficiaries under wills are entitled only to the net value of estate assets. The net value represents what remains of the decedent's assets owned at death after the payment of debts, expenses, and taxes. All states have statutes (known as abatement statutes) that determine how debts, expenses, and taxes should be allocated among the beneficiaries of residuary, specific, and general legacies. Invariably state statutes provide that, unless the will otherwise provides, legacies abate in the following order to pay debts, expenses, and taxes: (1) residuary devises, (2) general devises, and then (3) specific devises. *See, e.g.,* Uniform Probate Code § 3-902. Many abatement statutes also provide that "a general devise charged on any specific property or fund is a specific devise to the extent of the value of the property on which it is charged, and upon the failure or insufficiency of the property on which it is charged, a general devise to the extent of the failure or insufficiency." *Id.*

The general and specific bequests under the will add up to \$27,000. The value of the estate after payment of the \$28,000 claim is only \$22,000. Because the remaining value of the estate is \$5,000 less than the general and specific bequests, the residuary bequest abates completely.

Moreover, the \$5,000 shortfall must be allocated among the non-residuary legatees.

A bequest is specific if the subject matter of the bequest is specific property. *See generally* W. McGovern, S. Kurtz & J. Rein, *Wills, Trusts and Estates* § 10.1 at 398. A bequest is general if it can be satisfied with any estate assets. *Id.* Typically, a bequest of a specific dollar amount is general since it can be funded with cash or other property having a value equal to the amount of the bequest. A bequest of a specific dollar amount that is payable from a designated fund is a demonstrative bequest. *Id.* at 399. To the extent of the designated fund, a demonstrative bequest is specific since it is the designated fund from which the bequest is to be paid. A demonstrative bequest is general, however, to the extent the fund is insufficient to pay the dollar amount of the bequest in full.

Point Two (30-35%)

The bequest to Uncle of \$1,000 to be paid from Testator's bank account at Bank is a demonstrative legacy. Therefore, it is specific to the extent of \$750 and general as to \$250. Accordingly, only \$250 is subject to possible abatement as a general legacy, and then only in proportion to the other general legacies available for the payment of debts.

In light of the definition of a demonstrative legacy (see Point One), the bequest to Uncle is part specific (the \$750 in the bank account), part general (\$250), for purposes of the abatement statute. *See* UPC § 3-902. The portion that is specific will not abate if there are sufficient general legacies under the will to pay debts, expenses, and taxes that exceed the value of the residuary estate. Therefore, the amount of the abatement depends on what the aggregate value of all the general legacies is.

There is no doubt that the bequest to Friend of \$5,000 is a general legacy.

If Friend's bequest is the only other general legacy in addition to the \$250 to Uncle, then $\$250/\$5,250$ times \$5,000 (or \$238) of Uncle's bequest abates to pay the \$5,000 of claims for which the residuary estate is insufficient and \$4,762 of Friend's bequest abates as well. This would leave Uncle with \$762 and Friend with \$238. Of course, Sister gets the tangibles of \$1,000 and Brother gets \$20,000 of specifically bequeathed closely held corporate stock. This fully accounts for the \$22,000 available for distribution.

If, on the other hand, the bequest of the stock (valued at \$20,000) is also a general legacy, which is unlikely (see Point Four), then $\$250/\$25,250$ (or \$50) of Uncle's bequest abates; \$991 of Friend's bequest abates; and \$3,959 of Brother's bequest abates. As noted in Point Four below, this is unlikely.

Point Three (15-25%)

The interest of a disclaimant in either a specific, general, or demonstrative bequest passes as if the disclaimant predeceased the testator. Unless the will otherwise provides, if the disclaimant is a person described in the applicable anti-lapse statute, the disclaimed interest passes to the disclaimant's surviving issue.

Under the typical disclaimer statute, if a disclaimant files a timely disclaimer (generally within nine months of a testator's death), the disclaimed interest passes as if the disclaimant had

predeceased the testator. *See* UPC § 2-801. In other words, the typical disclaimer statute creates the fiction that the disclaimant predeceased the testator.

Under the typical lapse statute, if Uncle had predeceased Testator, the bequest to Uncle does not lapse; it passes to Uncle's issue. For example, under UPC § 2-603, a devise to a person who is a descendant of the testator's grandparents does not lapse if the deceased person's descendants survive the testator. Rather, a substituted gift is created in the deceased person's descendants. Under this and other typical lapse statutes, a substituted gift is created in Uncle's child, Son.

If an examinee assumes there is no lapse statute (which would be the common law rule) the amount to abate reduces from \$5,000 to \$4,000 and the entire amount would come from Friend's general bequest. This results from the fact that the bequest to Uncle is available to pay part of the \$28,000 claim against the estate, leaving only \$4,000 to come from the non-residuary bequests.

Point Four (15-30%)

The bequest of stock is most likely specific.

The classification of a bequest as either general or specific may depend on the intent of the testator. *See generally* Paulus, *Special and General Legacies: Testator's Intent*, 43 Iowa L. Rev. 467, 468 (1958). The classification of bequests of stock has proved most troublesome. If the language in the will evidences that the testator owned the securities at the time the will was executed (such as a will reading: "I give my stock in ABC Corporation"), courts generally conclude the gift is specific. This construction is based on the fact that the testator was referring to securities that he or she actually owned. Absent possessive words, courts use other factors to assist in the classification of the bequest. For example, if the stock is of a closely held business, the gift is usually specific on the theory that an executor could not readily acquire the stock for the named legatee on the open market, which would be the expectation if the bequest were classified as general. *See, e.g., In re Buck's Estate*, 186 P.2d 708 (Calif. 1949). Also, even if the testator did not use the possessive word "my" to describe the gift, if, when the will was signed, the testator owned shares equal to the amount described in the will, courts generally construe the gift as specific. Paulus, *supra*, at 495. On the other hand, if the testator did not then own shares at least equal to the amount of the gift, the tendency is to construe the gift as general. *See, e.g., Paulus, supra*, at 493.

In this case, ABC stock is closely held, and, at the time the will was executed, Testator owned 100 shares. Thus, more likely than not, the gift will be construed as specific and, therefore, will abate only if the residuary bequest and the general bequests are insufficient to pay all claims against the estate. Here, the general legacies are sufficient to pay the amount of debt that could not be paid from the residuary estate/Thus, the bequest of the ABC stock to Brother should not abate at all.

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure I, I.A)

ANALYSIS

Legal Problems:

- (1) Can the State Z district court exercise personal jurisdiction over Laptop, when the defective computer that caused Paul's injuries was purchased by Paul in State Y and transported by Paul into State Z?
- (2) Can the State Z district court exercise personal jurisdiction over Chip, when Chip's only connection with State Z is that its computer chips enter that state as part of computers sold there by Laptop?
- (3) Is venue proper in State Z?

DISCUSSION

Point One (35-45%)

The district court in State Z can assert personal jurisdiction over Laptop because Laptop's activities in the state are extensive enough to warrant the exercise of jurisdiction, even over a cause of action unrelated to those activities.

State Z may exercise in personam jurisdiction over Laptop so long as the defendant has "certain minimum contacts with [the forum] such that the maintenance of the suit does not offend 'traditional notions of fair play and substantial justice.'" *International Shoe Co. v. State of Washington*, 326 U.S. 310 (1945). The "defendant's conduct and connection with the forum state" must be "such that he should reasonably anticipate being haled into court there." A defendant corporation satisfies this requirement if it "purposefully avails itself of the privilege of conducting activities within the forum State." *WorldWide Volkswagen Corp. v. Woodson*, 444 U.S. 286 (1980). *See also McGee v. International Life Insurance Co.*, 355 U.S. 220 (1957).

Laptop's connection to State Z easily satisfies the minimum contacts test. The combination of Laptop's substantial sales in State Z, its advertising in State Z and its provision of a website (by which customers in State Z can obtain advice in the use of its products) all show a clear intent to serve the State Z market. As Laptop's conduct includes actions "purposefully directed toward the forum State," those actions should satisfy the minimum contacts requirement. *Asahi Metal Industry Co. v. Superior Court*, 480 U.S. 102 (1987).

The only argument against jurisdiction might be that the particular computer involved in this case was not sold by Laptop in State Z, but was purchased by Paul in State Y and carried by him to State Z. In *WorldWide Volkswagen Corp.*, the court held that the unilateral act of a customer in bringing a product into a state could not be regarded as creating minimum contacts between the state and the defendant, even if the product's presence in the state was foreseeable to defendant. That holding, however, has little relevance to this situation. Here, Laptop's

connection to State Z is not merely a result of Paul's unilateral act of bringing the computer to State Z. Laptop has made its own intentional decision to serve the State Z market. Moreover, its contacts with State Z are "continuous and systematic general business contacts," *Helicopteros Nacionales de Colombia, S.A. v. Hall*, 466 U.S. 408, 416 (1984); 25% of its sales are there; it advertises there; and it provides technical support to customers who are located there. This is enough for State Z to assert jurisdiction over Laptop, even as to a cause of action that is not directly connected to those business contacts. See *Perkins v. Benguet Consolidated Mining Co.*, 342 U.S. 437 (1952); cf. *Helicopteros Nacionales de Colombia, S.A. v. Hall*, 466 U.S. 408 (1984) (purchasing goods from a seller in a jurisdiction, even at regular intervals and even with related trips, is not enough to warrant assertion of jurisdiction over purchaser on cause of action unrelated to those transactions).

Point Two (15-25%)

In all probability, Chip should not be subject to State Z jurisdiction because the defective chip reached State Z through Paul's unilateral act and Chip's connections with State Z are not otherwise substantial enough for it reasonably to expect to be haled into court there.

Chip put its goods into the stream of commerce in the U.S. by selling them to Laptop. It knew its chips could end up in computers that would be sold in State Z. It also earned revenue from the sale of chips that were destined to be a part of products sold in State Z. However, the cause of action in this case, although it occurred in State Z, arose out of an alleged defect in a chip that was sold in another state and brought into State Z by the purchaser.

On these unique facts, jurisdiction is probably not proper over Chip. First, jurisdiction over Chip would have to be based solely on a "stream of commerce" theory: by placing its goods in the "stream of commerce" with knowledge that they would end up in State Z, Chip avails itself of the privilege of doing business in State Z and subjects itself to suit there. The problem with this theory is that it may no longer be valid and, even if it is, the injuries in this case were not caused by a chip that entered State Z through the stream of commerce.

The "stream of commerce" theory of jurisdiction was last endorsed by the Supreme Court in dicta in the *WorldWide Volkswagen* case, decided in 1980. In 1987, the Court split 4-4 on the validity of the stream-of-commerce theory, with four members of the Court writing that placing goods into the stream of commerce was not a sufficient basis to exercise jurisdiction over a nonresident defendant, absent evidence of an explicit intention by the defendant to serve the target market. Since that time, the federal courts have been divided on the viability of the stream-of-commerce test.

In our case, the argument for jurisdiction on a stream-of-commerce rationale is especially weak. Although Chip sells some chips knowing that they will reach State Z through the stream of commerce, the particular chip that caused injury did not reach State Z via the stream of commerce. The allegedly defective chip entered State Z because of Paul's, unilateral act of bringing his laptop computer into the state. Moreover, Chip did nothing that indicated any special intention to serve the State Z market. Finally, Chip's revenue from State Z sales is relatively small (less than 2% of its annual revenue). Even if the stream-of-commerce theory is a viable basis for jurisdiction over Chip, that jurisdiction probably would not extend to acts unrelated to its in-state sales. The fact that Chip's products enter State Z on a small scale through

the stream of commerce would not seem to be the “continuous and systematic general business contacts” required for exercise of jurisdiction in connection with claims unrelated to those contacts.

However, a case for jurisdiction can be supported by emphasizing that it was foreseeable to Chip that its products might cause injury in State Z. given its knowledge that they were incorporated into computers sold there.

A second reason for not asserting jurisdiction over Chip is the burden that Chip would face in defending in State Z. In the leading case involving jurisdiction over a foreign component manufacturer, the Supreme Court noted that “the unique burdens placed upon one who must defend oneself in a foreign legal system should have significant weight in assessing the reasonableness” of an exercise of jurisdiction. *Asahi, supra*. Even if an assertion of jurisdiction over Chip were otherwise appropriate, it might be unreasonable in light of the burden Chip would face in defending itself, especially in light of the small amount of revenue it actually makes from sales of its product in State Z.

On the other hand, Paul and State Z have a strong interest in having the case go forward in State Z. A State Z action would be convenient for Paul and would allow State Z courts to vindicate whatever interest the state may have in Paul’s recovery. These interests, which were not present in *Asahi*, offset the burden on Chip and provide strong reasons for hearing the action in State Z. If there were an otherwise sound basis for jurisdiction over Chip, it would probably be reasonable to assert it, despite the burdens that it would impose on Chip.

In sum, it would appear that the court should grant Chip’s motion to dismiss because jurisdiction is inappropriate where (1) Chip’s connections with State Z are slight, (2) Chip takes no actions itself that are directed at serving the State Z market, (3) the injury in the case was caused by a chip which entered State Z through the unilateral actions of the consumer, and (4) the burden on Chip of defending the action would be severe. However, a good argument could be made in favor of jurisdiction, stressing the foreseeability to Chip of an injury in State Z and the reasonableness of State Z jurisdiction in light of the interests of the state and the plaintiff.

Point Three (35-45%)

Venue is clearly proper in State Z. but the action should be transferred to State Y if the district court in State Z is found to lack jurisdiction over Chip.

Under 28 United States Code § 1391(a), venue in a diversity case is proper in “(1) a judicial district where any defendant resides, if all defendants reside in the same, state, (2) a judicial district in which a substantial part of the events or omissions giving rise to the claim occurred, ...” or “(3) a judicial district in which the defendants are subject to personal jurisdiction.” Where corporate defendants are involved, they are deemed to reside “in any judicial district in which [they] are subject to personal jurisdiction.” 28 U.S.C. § 1391(c). If State Z has jurisdiction over the defendants, it would clearly have venue over the action under any of these provisions. It would be a “district in which the defendants are subject to personal jurisdiction,” it would be (by definition) a district in which the defendants “reside,” and “a substantial part of the events ... giving rise to the claim” occurred there—the computer fire and Paul’s injuries.

If State Z has jurisdiction, the court is unlikely to grant a motion to transfer venue. Venue transfer is permitted, “in the interest of justice [and] for the convenience of the parties,” to any district in which the action could have been brought originally. 28 U.S.C. § 1404(a). There is no reason to believe that any outlier court would be significantly superior to State Z as a venue for the action. State Y might be a somewhat more appropriate venue for a product liability action, as it is the state of manufacture. But pertinent evidence (e.g., relating to Paul’s injuries) is likely to be present in State Z; a State Z trial will be convenient for Paul (as a State Z resident); and courts generally give deference to plaintiffs choice of forum where the choice is not unreasonable and convenience factors do not weigh strongly toward another forum.

If State Z does NOT have jurisdiction, however, the court is very likely to grant a motion to transfer venue to State Y. Both Laptop and Chip would almost certainly be amenable to suit in State Y (Laptop manufactures its laptops there and Chip ships its parts directly to State Y), State Y is a proper venue for the action because “a substantial part of the events or omissions giving rise to the claim occurred” there (manufacture of the computer), and a venue transfer to State Y would serve “the interests of justice” better than an outright dismissal of the case. Under 28 U.S.C. § 1631, a court may transfer an action to another court to cure a “want of jurisdiction” if it is “in the interest of justice” to do so.

FAMILY LAW/CONFLICT OF LAWS ANALYSIS

(Family Law V.B, VILA, VII.C / Conflict of Laws III.C)

ANALYSIS

Legal Problems:

- (1) In an interstate adoption action, which state's statute of limitations applies?
- (2) Does the state which was the domicile of the adoptive parents but not the biological mother or the child have jurisdiction to enter the adoption decree?
- (3) Does it violate due process to allow a child born to unmarried parents to be adopted without notice to a putative father who has knowledge of the child's birth but has not visited the child, paid child support* or otherwise manifested willingness to take on the rights and duties of parenthood?

DISCUSSION

Point One (15-25%)

The statute of limitations in the forum state State Z. will apply.

Most states treat statutes of limitations as procedural for choice of law purposes. If State Z uses this approach, it would ordinarily apply its own statute of limitations. Restatement (Second) of Conflict of Laws § 142 (1986 Rev., as approved 1988) continues this approach. It provides that the forum's shorter statute of limitations applies absent "exceptional circumstances" that make its application "unreasonable." No such circumstances appear here.

The Uniform Conflict of Laws Limitations Act, 12 U.L.A. Pocket Part 56 (1988), adopted in six states, characterizes statutes of limitations as substantive. Under the Uniform Act, when a claim "is substantively based" on the law of a particular state, that state's statute of limitations applies. In this case, however, Father's claim raises primarily federal constitutional issues and is not substantively based on a particular state's law. In these circumstances, the forum applies its own statute of limitations.

Accordingly, whether State Z uses traditional law, the Restatement approach, or the Uniform Act, it will likely apply its six-month limitation to the collateral attack on the adoption decree.

Point Two (35-45%)

Under traditional principles, State Z has jurisdiction to enter the adoption decree because the adoptive parents are domiciled there. Under modern statutes, whether State Z has jurisdiction depends on whether the court finds that the connection between the child and State Z is significant and whether substantial evidence concerning the case is present in State Z.

Under traditional common-law principles and the Uniform Adoption Act as it existed before 1994, State Z would be able to assert jurisdiction because it is the domicile of the adoptive parents. Uniform Adoption Act § 4 (1969).

Under more current jurisdictional principles, expressed in the Uniform Child Custody Jurisdiction Act and the 1994 Uniform Adoption Act, the essential inquiry is whether State Z has a sufficiently strong connection with the child and whether substantial evidence concerning the case is present there. Section 4(2) of the 1994 Uniform Adoption Act would almost certainly allow State Z to take jurisdiction because “immediately before commencement of the proceeding, the prospective adoptive parent lived in this State for at least six consecutive months, excluding periods of temporary absence, and there is available in this State substantial evidence concerning the minor’s present or future care.”

However, many states have not adopted the Uniform Adoption Act and use the more general principles of the Uniform Child Custody Jurisdiction Act to determine jurisdiction for adoption. Cases applying the UCCJA to adoption include *In re Adoption of Child by T. W.C.*, 270 N.J. Super. 225, 636 A.2d 1083 (1994); *In re Baby Girl Clausen*, 502 N.W.2d 649 (Mich. 1993); *In re Termination of Parental Rights over M.C.S.*, 504 N.W.2d 322 (S.D. 1993); *In re A.E.H.*, 46% N.W.2d 190 (Wis. 1991); *Foster v. Stein*, 183 Mich. App. 424, 454 N.W.2d 244 (1990); *Gainey v. Olivo*, 258 Ga. 640, 373 S.E.2d 4 (1988); *Souza v. Superior Court*, 193 Cal. App. 3d 1304, 238 Cal. Rptr. 892 (1987).

The provision of the UCCJA which might allow State Z to take jurisdiction in this case is § 3(a) (2), which allows assertion of jurisdiction if the child and at least one contestant (here, the Adoptors) have a significant connection with the state and substantial evidence concerning the case is present in the state. Whether this test is satisfied is less clear. It can be argued that State Z does have a substantial connection because Son and the Adoptors intend to live there permanently and the evidence about Son’s future life with the Adoptors is available there. However, on facts similar to these some courts have held that the state in which a child has lived with prospective adoptive parents for a short time does not have jurisdiction under this provision. The rationale is that the child has spent all his life in the state of his birth and all the evidence about the validity of his relinquishment for adoption is available there. *See, e.g., State ex rel. Torres v. Mason*, 315 or. 386, 848 P.2d 592 (1993) (holding one-month stay in state with prospective adoptive parents is not long enough to give “significant connection” jurisdiction). It can also be argued that State Z is the child’s “home state” at the time the decree of adoption is entered, as the child and person acting as a parent (adoptors) have resided in State Z for a period in excess of 6 months.

Point Three (35-45%)

The due process clause does not require that notice of an adoption be given to an unwed father who knew of the pending birth of his child but who neither acknowledged paternity nor took steps to establish legal paternity or an actual parent-child relationship with the child.

Under the State Z adoption statute, Father was not entitled to notice of the adoption because he moved out shortly before the child was born, had no contact with the child, and took no legal action to establish paternity until after he learned of the adoption. As applied in this case, the

statute allowing the child to be adopted without notice to the biological father is probably constitutional.

The United States Supreme Court has held that parental rights are fundamental rights protected by the Constitution. *Santosky v. Kramer*, 455 U.S. 745 (1982); *Lassiter v. Dept. of Soc. Serv.*, 452 U.S. 18 (1981). While the Supreme Court has never decided a case about the substantive showing that must be made to justify terminating parental rights, it can reasonably be inferred that heightened scrutiny would be used, since the Court has subjected actions limiting parental care and custody to heightened scrutiny. *Id.*

The critical question raised here is whether Father, the biological unwed father, has a constitutionally protected interest. Father will rely on *Stanley v. Illinois*, 405 U.S. 645 (1972), and *Caban v. Mohammed*, 441 U.S. 380 (1979), to argue that he does. In *Stanley*, the Supreme Court held that an unwed father who was denied notice of juvenile court proceedings to determine the custody of his child had a constitutionally protected interest and that due process entitled him to notice. In *Caban*, the Court also found that an unwed father had such an interest and held that a statute which protected his relationship to his children less than it protected their relationship to their mother violated equal protection. However, in *Lehr v. Robertson*, 463 U.S. 248 (1983), the Supreme Court held that a state may allow the adoption of a child born outside of marriage without actual notice to a known biological father who did not satisfy a limited set of criteria for receiving notice. In *Lehr*, the father had not established a relationship with his child and had not registered his claim to paternity with the state putative father registry. He was not, therefore, entitled to notice under the statute. In upholding the statute the Court said, “The possibility that he may have failed to [file with a putative father registry, which would have entitled him to notice under the statute] because of his ignorance of the law cannot be a sufficient reason for criticizing the law itself. The New York legislature concluded that a more open-ended notice requirement would merely complicate the adoption process, threaten the privacy interests of unwed mothers, create the risk of unnecessary controversy, and impair the desired finality of adoption decrees.” The Court characterized the issue as whether the statute “adequately protected his opportunity to form such a relationship.” The court held that it had. Based on this reading of *Lehr*, the statute here would be constitutional as applied to Father. See generally Joan Heifetz Hollinger, *Adoption Law and Practice* 2.04.

CORPORATIONS ANALYSIS

(Corporations V.A, V.B, VIII.C)

ANALYSIS

Legal Problems:

- (1) Is the decision of a president of a corporation to change the business, as authorized by the board, and his unilateral decision to sell the assets, within his power as an officer?
- (2) Do minority directors have the ability to block a change in the corporation's business and the sale of all of its assets?
- (3) Can minority shareholders force the corporation to buy their shares when they object to the corporation's change of business and sale of its assets?

DISCUSSION

Point One (40-60%)

The board of directors authorized Adam, as president, to change the corporation's business from furniture to tennis clubs. However, shareholder approval, in addition to board approval, is required to authorize Adam to sell all of the assets of FurnitureCo.

Officers are authorized to take actions as authorized in the bylaws, as directed by the board of directors consistent with the bylaws, or as directed by other officers acting under the authority of directors. Revised Model Business Corporation Act (RMBCA) § 8.41. In this case, Adam was authorized by the board of directors to "study and implement at his discretion a program for restructuring and/or reorienting the business operations of the company." There is nothing in the RMBCA that would prevent the board from making this decision. Since a quorum was present at the board meeting, the majority vote was the authorized action of the board. RMBCA § 8.24(a) (1) and (c). Unless the general direction to Adam is a violation of the board members' duties of good faith and care, (*see* RMBCA § 8.30), which the facts do not suggest given the general briefing on opportunities in the sports field and Adam's stock holdings, the delegation to Adam as president is within the board's power. The bylaws are silent as to whether an officer can exercise such authority upon the delegation of the board, and therefore such a delegation would not be in violation of RMBCA § 8.41.

Unlike the decision to redirect the business, the decision to sell FurnitureCo's assets is not within Adam's authority as president, even as directed by the board of directors. Adam's intended sale of FurnitureCo's current assets and use of the sale proceeds to buy a tennis club appears to be a sale of all, or substantially all, of the corporation's assets within the meaning of RMBCA §§12.01 and 12.02. Since the company has been in the furniture business for 20 years, the sale is clearly not in the regular course of business. Therefore, the board must vote to recommend the proposed sale to the shareholders and the shareholders must approve the sale in order for the sale

to be properly authorized. RMBCA § 12.02. Since the board itself cannot alone authorize the sale, the board cannot grant the president the authority to implement the sale without shareholder approval.

Point Two (20-30%)

In their capacity as both directors and shareholders, Diane and Edward must be notified of and given the opportunity to vote on the sale of FurnitureCo's assets, although they don't have enough votes to prevail.

The board of directors must vote to recommend the sale of all or substantially all of the assets of FurnitureCo. RMBCA § 12.02. No resolution authorizing the sale was passed at a regular meeting of the board, since the general authorization by the board for Adam to study and implement a restructuring plan was insufficient authorization. Board approval could be obtained either at the next regularly scheduled board meeting or, if action was needed prior to the scheduled date of the regular meeting, at a special meeting of the board. It is necessary to hold a board meeting even where, as on these facts, the board has the required number of votes to approve recommending the sale to the shareholders.

In addition to board of director approval, the shareholders also must vote to approve the sale of all or substantially all of the assets. RMBCA § 12.02. Even though Adam owns 70% of the stock and will get the requisite majority, the action cannot be taken without giving all of the shareholders the opportunity to vote. All shareholders, including Diane and Edward, must be notified of a special meeting of the shareholders. RMBCA § 7.05. The notice must also state the purposes of the special meeting. RMBCA § 7.05(c). The only exceptions to the notice requirement are where a shareholder waives notice or joins in a unanimous written consent. RMBCA §§ 7.06 and 7.04.

The sale of assets has not been properly structured to date, but ultimately Adam has the power to prevail with his plan. RMBCA § 12.02 First, Adam must get the board to recommend the proposed sale. The facts indicate that Beth and Charles will vote with Adam to approve the sale. Furthermore, if they don't vote with him, Adam can vote as the 70% shareholder to remove them and replace them with directors who will. RMBCA § 8.08. Second, Adam will cause the corporation to give notice to the shareholders of a special meeting to vote on the sale proposal. Since Adam holds 70% of the shares and will vote, the sale will be approved.

Point Three (20-30%)

Diane and Edward can exercise their dissenters' rights and force FurnitureCo to buy their shares.

The sale of assets is "a sale or exchange of all, or substantially all, of the property of the corporation other than in the usual and regular course of business," which triggers dissenters' rights. RMBCA § 13.02(a) (3). Dissenters' rights are the right of dissenting shareholders to force the corporation to purchase their shares at an appraised market value. RMBCA § 13.02(a). To exercise their rights, Diane and Edward must deliver to FurnitureCo notice of their intent to dissent prior to the shareholder vote and must not vote in favor of the sale. RMBCA § 13.21. Once the shareholder vote authorizing the sale has occurred, FurnitureCo must deliver a dissenters' notice to Diane and Edward identifying the mechanics of the purchase of their shares.

Family Law/Conflict of Laws Analysis

RMBCA § 13.22. Diane and Edward must then demand payment and deposit the shares within the statutory time period (generally within 30 to 60 days) after the vote. RMBCA § 13.23.

SECURED TRANSACTIONS ANALYSIS

(Secured Transactions V.B)

ANALYSIS

Legal Problems:

- (1)(a) Was the resale commercially reasonable?
- (1)(b) To what damages is Debtor entitled?
- (2) Is Smith Motors entitled to a deficiency judgment against Debtor?

DISCUSSION

Point One (a) (30-40%)

The resale was not conducted in a commercially reasonable manner, because Smith Motors did not adequately publicize the sale, failed to give adequate notice of the sale to Debtor, and sold the car for substantially less than its market value.

Smith Motors had a purchase money security interest under Uniform Commercial Code § 9-107(a). Because the car was used for personal purposes, it would be classified as consumer goods under UCC § 9-109(1). Thus any Article 9 default provisions applicable to purchase or non-purchase money security interests in consumer goods would govern the problem. Smith Motors purportedly held a public sale of the car pursuant to UCC § 9-504(3). A public sale is attended by the public pursuant to notice and often contemplates competitive bidding. J. White & R. Summers, *Uniform Commercial Code* 1217 (3d ed. 1988). Under UCC § 9-504(3), reasonable notice of a proposed resale must be sent to Debtor, and any resale must be commercially reasonable as to “method, manner, time, place, and terms.”

These standards were not met for three reasons:

(1) Smith Motors did not give adequate notice of resale to Debtor. UCC § 9-504(3) requires that “reasonable notification of the time and place of any public sale” shall be “sent by the secured party to the debtor.” Comment 5 to UCC § 9-504 suggests that reasonable notification “must be sent in such time that persons entitled to receive it will have sufficient time to take appropriate steps to protect their interests by taking part in the sale or other disposition if they so desire.” The notice was sent by mail and was delivered one day before the sale was to take place. It was too late to be of any use to Debtor. The purpose of notice—to give Debtor a chance to redeem the car under UCC § 9-506 or to maximize the number of bidders at the sale and thereby reduce any deficiency—was thereby thwarted. B. Clark, *supra*, § 12.05[5] [a], and the accelerated sale was commercially unreasonable. T. Crandall, *supra*, § 7.05[7] [c] [iv]; J. White, *supra*, at 1227. None of the UCC § 9-504(3) exceptions to debtor notice apply: the car was not perishable, it was not sold on a recognized market, and Debtor did not waive his rights to notice in writing after default. This was not sufficient for a commercially reasonable sale.

(2) Smith Motors did not give sufficient advance publicity to insure the success of a public sale. Advance publicity is important to increase the likelihood that a public sale will realize the market value of the collateral. B. Clark, *The Law of Secured Transactions Under the Uniform Commercial Code* § 4.08[5] [d] (1988). T. Crandall, R. Hagedorn, & F. Smith, *The Law of Debtors and Creditors* § 7.05[7] [d] [viii] (1991). Smith Motors did not do any advertising, and its contacts were with only a few dealers.

(3) The resale price of \$10,000 to the lone bidder was below the fair market value of the car. While UCC § 9-507(2) specifies that a low price received at the sale does not always establish a lack of commercial reasonableness, most courts assume that a low price is a factor in deciding on commercial reasonableness. T. Crandall, *supra*, § 7.05[7] [d] [ii]; J. White, *supra*, § 25-15. When accompanied with procedural irregularities, a low resale price is the “paradigm commercially unreasonable resale.” *Id.* at 1234-35.

In addition, the resale was at wholesale to a dealer intending to resell. It could be argued that Smith Motors had sufficient expertise to resell at retail, thereby enhancing the sale price and reducing Debtor’s deficiency. However, a persuasive counterargument finds that requirement burdensome to retailers and wholesale disposition to be commercially reasonable. J. White, *supra*, § 25-11.

Point One (b) (30-40%)

Under UCC § 9-507(1), Debtor is entitled to recover either the loss caused by Smith Motors’ failure to conduct a commercially reasonable sale or a minimum recovery in the form of a civil penalty.

As it is too late for any injunction against resale, the Uniform Commercial Code gives Debtor two options regarding damages. Under UCC § 9-507(1), Debtor is first entitled to recover “any loss caused by a failure to comply with the provisions” of Article 9 regarding default. Debtor may recover the difference between the resale price and the fair market value on August 15 (\$14,000 - 10,000 = \$4,000). In any event, because the collateral was consumer goods, Debtor may recover, as a civil penalty, not less than the greater of the credit service charge (\$4,000) plus 10% of the principal of the debt (\$1,600) or the time price differential (\$4,000) plus 10% of the cash price (\$1,650). (Note: Some jurisdictions would not include the down payment as part of the “cash price.” In such a jurisdiction, 10% of the cash price would be \$ 1,600.) Thus, Debtor could recover a civil penalty of \$5,650 (\$4,000 + \$1,650). T. Crandall, *supra*, § 7.05[9] [b]; J. White, *supra*, at 1244-45. Either of these amounts could be applied to reduce the deficiency owed to Smith Motors, and Debtor may recover the larger of the two. B. Clark, *supra*, § 4.12[5].

Point Two (30-40%)

Smith Motors may or may not be entitled to a deficiency judgment against Debtor depending upon the position of the jurisdiction as to the effect of creditor misbehavior.

The consequences for failure to publicize the sale and provide notice are provided in UCC § 9-507, which provides, in part: If it is established that the secured party is not proceeding in accordance with the provisions of this Part, disposition may be ordered or restrained on appropriate terms and conditions. If the disposition has occurred, the debtor or any person

entitled to notification... has a right to recover from the secured party any loss caused by a failure to comply with the provisions of this Part.

The Uniform Commercial Code nowhere addresses the right of a creditor to recover a deficiency judgment after violating the rules contained in Part 5 (including the notice requirement of UCC § 9-504(3)). However, many courts have addressed the effect of the secured party's violation of such debtor protection provisions. Courts have taken three approaches, none of which can be clearly identified as the majority. White and Summers provide an extensive grouping of cases under each approach. White and Summers, *Uniform Commercial Code* 1245-53 (3d ed. 1988).

The first approach is to deny the secured creditor any deficiency if it is shown that Part 5 of Article 9 has been violated. In *Skeels v. Universal CIT Credit Corp.*, 222 F. Supp. 696,702 (W.D. Pa. 1963), *modified on other grounds*, 335 F.2d 846 (3d Cir. 1964), the court held that "a security holder who sells without notice may not look to the debtor for any loss." Thus, under this approach, Debtor has an absolute defense to Smith Motors' suit, in addition to his right to recover damages.

A second line of cases applies what is known as the "rebuttable presumption" rule, under which the debtor who has not been notified has the benefit of a presumption that the value of the collateral was equal to the debt. *See Emmons v. Burkett*, 353 S.E.2d 908 (Ga. 1987). Under this rule, Smith Motors would carry the burden of showing that the collateral was worth less than the amount owed. The amount of Smith Motors' recovery would be limited to the difference between the value of the collateral as proved by it and the amount of the claim. *See Universal CIT Credit Corp. v. Rone*, 453 S.W.2d 37, 39-40 (Ark. 1970). In this question, there are not enough facts with which to calculate Smith Motors' recovery under this theory.

While a majority of courts would follow one of the two approaches above, *see* White and Summers, *supra*, at 1246 n.9, 1251 n.31, a minority of courts allow only a set-off for the loss proven by the debtor to have been caused by the secured party's failure to provide notice, or, alternatively, a set-off for Debtor's statutory recovery. *See* White and Summers, *supra*, at 1252. Again using the evidence provided by the facts, Debtor may be able to prove damages of \$5,650 (\$4,000 + \$1,650 — *see* Point One) to offset against the \$7,000 deficiency claim, for a net recovery by Smith Motors of \$1,350.

July 1999 MEE

ANALYSES

Trusts and Future Interests
Agency and Partnership
Federal Civil Procedure/Conflict of Laws
Family Law
Commercial Paper
Decedents' Estates
Corporations

TRUSTS AND FUTURE INTERESTS ANALYSIS

(Trusts and Future Interests I.F)

ANALYSIS

Legal Problems:

- (1) Should Trustee invade trust principal for the purpose of enabling Adam to purchase an automobile?
- (2) Can Trustee refuse to invade trust principal to enable Adam to repay a loan to Husband incurred to permit Adam to continue his education?
- (3) If Trustee invades principal improperly on Adam's behalf, does Trustee or Adam bear personal liability for the improper invasion?

DISCUSSION

Point One (20-30%)

Trustee should not invade trust principal for the purpose of permitting Adam to purchase a \$50,000 automobile.

In general, unless the trust instrument authorizes the trustee to invade trust principal, an income beneficiary is entitled only to trust income. *See* Restatement (Second) of Trusts § 128 comment i. While in some cases a power of invasion can be implied, here Testator demonstrated that she knew how to create a power of invasion, since she expressly created one to provide for Adam's education. The inference is strong that she did not intend to confer on Trustee any other power of invasion for Adam's benefit. Trustee should refuse to make the distribution from principal without a court order because the trust does not expressly permit the requested \$50,000 distribution and, therefore, the distribution without a court order would be a breach of trust.

However, when the income beneficiary will ultimately receive the trust principal, as here, a court may permit the trustee to invade principal to assist the income beneficiary, unless an invasion of trust principal would be inconsistent with the testator's express directions in creating the trust. Restatement (Second) of Trusts § 168. If Adam were the only trust beneficiary, a court might authorize Trustee to invade principal to permit Adam to purchase the automobile. Of course, that is not the case here.

A court might also permit an invasion due to a significant change in circumstances since the execution of Testator's will. *Cf.* Restatement (Second) of Trusts § 167(1). For example, when Testator executed the will, she undoubtedly believed that the trust income (possibly \$48,000 annually assuming a 6% interest rate) would have been adequate to meet Adam's needs until Adam reached the age of 30. Testator's business misfortunes significantly reduced her expectation that Adam would receive such amount.

The problem, however, is that an invasion of principal to pay for the automobile when not specifically authorized would adversely affect the interests of the other beneficiary, Betsy. Accordingly, a court should not authorize invasion absent express language in the trust instrument or Betsy's consent. *See* Restatement (Second) of Trusts § 168 comment d, illus. 4.

Although Adam might argue that any depletion in principal could be subtracted from Adam's own share of the remainder, that argument is not plausible in light of Trustee's power to invade principal for Adam's education. That is, since Trustee has the express power to invade principal for Adam's education, Adam's share of the principal when the trust terminates may be too small to cover the cost of the car. As a result, invasion would threaten the interest of Betsy, and hence would be unjustified.

Adam might argue that buying a car helps to further his education, particularly if a car is necessary to permit Adam to go to and from school. While there may be some merit to that argument, it would not warrant a \$50,000 invasion.

Point Two (35-45%)

Because Trustee was granted absolute discretion to determine whether to invade trust principal to provide for Adam's education, Trustee need not invade the principal to permit Adam to repay the loan to Husband, and Trustee's failure to do so would not be an abuse of discretion. On the other hand, Trustee would not be violating the terms of the trust should Trustee decide to invade the corpus to permit Adam to repay the education loan to Husband.

When a testator confers discretion (or absolute discretion) on a trustee to make or withhold distributions, courts do not compel trustees to exercise that discretion unless the trustee's failure constitutes an abuse of discretion. *See* Restatement (Second) of Trusts § 187; Bogert, *Trusts and Trustees* § 560; *see also Gulf National Bank v. Sturtevant*, 511 So. 2d 936 (Miss. 1987); Restatement (Second) of Trusts § 187; *Dunkley v. Peoples Bank & Trust Co.*, 728 F. Supp. 547 (W.D. Ark 1989). Likewise, courts do not enjoin trustees from exercising such power unless an exercise of the power would be an abuse of discretion. *See* Restatement (Second) of Trusts § 187; *Dunkley*, 728 F. Supp. 547. The question here is whether Trustee would be abusing its discretion by paying, or by refusing to pay, for Adam's tuition. The facts do not warrant that conclusion. Therefore, Adam cannot compel Trustee to distribute principal to him.

Because the trust instrument provides a standard by which Trustee's conduct may be judged—are funds necessary for Adam's education—a court “will control the trustee in the exercise of a power where he acts beyond the bounds of a reasonable judgment.” Restatement (Second) of Trusts § 187 comment i. If, contrary to the actual facts, Adam had been without other funds to pursue an education, Trustee would likely have been obligated to invade the trust principal to provide Adam with assistance, absent some strong argument that even then an invasion would be inadvisable. *See* Restatement (Second) of Trusts § 187 comment i, illus. 11. Here, however, Adam's father, Husband, had assets and actually advanced Adam a loan to pay for Adam's tuition. These facts should permit Trustee to argue, if it chose not to invade principal, that it was exercising its discretion reasonably because Adam's educational expenses had been met by the loan from his father and thus Adam's need was fulfilled, and the fact that ultimately a beneficiary, in addition to Adam, would be entitled to some share of the trust principal.

Courts generally presume that a testator intended the beneficiary to receive support or education from the trust, regardless of other sources of support, unless the trust instrument otherwise provides. *See* Restatement (Second) of Trusts § 128 comment e; *Godfrey v. Chandley*, 248 Kan. 975, 811 P.2d 1248 (1991). Moreover, since Adam has reached the age of majority, Husband was under no legal obligation to provide for Adam's education. Therefore, Adam could argue that Trustee would be abusing its discretion if it did not invade principal to repay Husband. However, this argument does not seem compelling.

Point Three (30-40%)

If Trustee wrongfully invades the trust principal, without court approval, to pay Adam money to purchase the automobile, Trustee is personally liable to Betsy, but it will be entitled to indemnity from Adam unless Adam has detrimentally relied on the wrongful payment. Trustee might also be removed as trustee for this breach of the trust. Adam, a participant in the breach, would also be liable to Betsy.

When a trustee abuses discretion and makes excessive payments to a beneficiary or distributes the trust property to a beneficiary in breach of the terms of the trust, the trustee is liable for the resulting loss to the trust and other beneficiaries. *See Dunkley v. Peoples Bank & Trust Co.*, 728 F. Supp. 547 (W.D. Ark. 1989); *Austin v. U.S. Bank of Washington*, 73 Wash. App. 293, 869 P.2d 404 (1994). Here, if Trustee paid Adam money to purchase a car, such payment would be inconsistent with the terms limiting principal invasions only for education, and Trustee would be liable to reimburse the trust for resulting losses.

At the same time, however, when a trustee overpays one of the beneficiaries, the trustee is entitled to recover the overpayment, unless the beneficiary has so changed his position that it would be inequitable to require repayment. Restatement (Second) of Trusts § 254; *Dunkley v. Peoples Bank*, 728 F. Supp. 547. If Adam had already spent the money advanced, and if it were impractical to recover the money from Adam, Trustee would be entitled to subject Adam's own remainder interest to a charge in the amount of the overpayment, thus effectively reimbursing Betsy for any losses she would otherwise have suffered. Restatement (Second) of Trusts § 254.

If Trustee's unjustified payments to Adam reduced Adam's share of the principal to such a degree that reimbursement from Adam's share would not make Betsy whole, she would be entitled to recover from Trustee personally. Moreover, if a trustee breaches the terms of a trust, another remedy is the trustee's removal from office. That remedy is more likely to occur where the trustee personally benefits from the breach, which did not occur in this case. Thus, it is unlikely that Betsy could successfully seek Trustee's removal.

When a beneficiary is unjustly enriched by a trustee's breach of trust, the beneficiary can be liable to the other beneficiary for any loss he or she sustains. Thus, Adam would also be liable to Betsy if neither Trustee nor the trust assets satisfied her claim for breach of trust. Bogert, *Trusts* § 167.

AGENCY & PARTNERSHIP ANALYSIS

(Agency & Partnership VI, VIII.A, IX)

ANALYSIS

Legal Problems:

- (1) Was either a limited partnership or a general partnership formed by the oral agreement between Benjamin and Susan?
- (2) Does Susan have the legal right to terminate the relationship with Benjamin?
- (3) What elements of the partnership is Benjamin entitled to a share in if Susan terminates the relationship?

DISCUSSION

Point One (40-50%)

A general partnership was created by Benjamin and Susan's oral agreement.

In order to form a limited partnership, a written certificate of limited partnership must be executed and filed with the Secretary of State. Revised Uniform Limited Partnership Act (RULPA) § 201. Since the relationship between Benjamin and Susan was not memorialized in writing, no limited partnership was formed. The subjective belief of the parties that they had formed a limited partnership is not relevant.

The relationship that Benjamin and Susan formed was a general partnership. Unlike a limited partnership, there is no requirement that a general partnership agreement be in writing. Rather, the creation of a partnership de jure is a function of the intent of the putative partners to establish "an association of two or more persons to carry on as co-owners a business for profit. . . ." Uniform Partnership Act (UPA) § 6. *See Meyer v. Lofgren*, 949 S.W.2d 80 (Mo. Ct. App. 1997). Benjamin and Susan intended to operate their furniture restoration business as co-owners for profit, even though they were legally mistaken in calling the venture a limited partnership. *See also* Revised Uniform Partnership Act (1994) (RUPA) § 202(a). Moreover, under UPA § 7(4) "[t]he receipt by a person of a share of the profits of a business is prima facie evidence that he is a partner in the business...." Benjamin and Susan divided the profits 70% to Benjamin - 30% to Susan until Benjamin received his capital contribution plus interest and then 50%-50% thereafter. *See also* RUPA § 202(c)(3).

Point Two (5-10%)

Susan has the legal right to cause the dissolution of the partnership.

Susan has the right to dissolve the partnership because a partner always has such a right. UPA § 31; RUPA § 602(a). However, a partner's act of dissolution may be either a wrongful dissolution or a permitted action. UPA § 31(1), 31(2); RUPA § 602. Where the partnership agreement does

not specify a definite term or a specified objective for the partnership to achieve during its operations, then dissolution does not contravene the partnership agreement. A partnership has been established for a particular undertaking if it has a stated purpose that can be achieved at a recognizable time, even if that time could not have been predicted when the partnership was established. *Girard Bank v. Haley*, 332 A.2d 443,447 (Pa. 1975).

The agreement between Benjamin and Susan does not specify any term. Although the purpose of the partnership was to restore and sell furniture, this is a continuous activity that does not constitute a particular undertaking. As a result, the partnership was a partnership at will. A partner is not required to have a reason to dissolve a partnership at will. *Id.* at 446. Therefore, Susan has not only the power but also the legal right to dissolve the partnership.

Point Three (40-50%)

After dissolution, Benjamin is entitled to a distribution of partnership assets, which do not include Susan's tools but probably do include his share of the goodwill.

When dissolution of a partnership is not wrongful or in contravention of the partnership agreement, the partnership property is applied to discharge the partnership's liabilities, and the surplus is paid to the partners. UPA § 38(1); RUPA § 807(a). Here there are no partnership liabilities, so the issue is post-dissolution distributions under UPA § 40 or RUPA § 807(b). There being no contrary agreement of the parties, the partnership assets are to be distributed under UPA § 40(b). *See* RUPA § 807(b). There are no outside or inside creditors, and Benjamin has already been reimbursed for his \$50,000 capital contribution plus interest, so the partnership assets should be distributed as profits 50% to Benjamin and 50% to Susan.

The issue is what assets of the business constitute partnership assets available for distribution to the partners. Under the UPA "[a]ll property originally brought into the partnership stock or subsequently acquired... on account of the partnership, is partnership property." UPA § 8(1). *See also* RUPA § 204. The cash on hand, earned by the partnership from its operations, is clearly a partnership asset.

The facts state that Susan would use her own well-equipped workshop and custom tools for the partnership's operations. This indicates that Susan did not contribute ownership of Susan's tools to the partnership, but instead only made them available for use by the partnership. An argument that the tools were a contribution analogous to Benjamin's \$50,000 capital contribution finds some support in the equivalent amounts involved. However, Benjamin's capital contribution was repaid with interest, and there was no similar provision with respect to the tools. Nor is there any evidence that the parties themselves treated the tools as partnership property. On balance, the tools are not partnership property.

Even if the tools are considered to be partnership property, their contribution to the partnership was a "capital contribution" by Susan. Under UPA § 40(b) (III), Susan is entitled to a return of Susan's "capital contribution" before either partner is entitled to a distribution of profits under UPA § 40(b) IV. *See also* RUPA § 807.

Benjamin has argued that, in addition to the tangible assets of the partnership, he is entitled also to an accounting for the intangible goodwill value of the business. "Goodwill" is the value of the

business as a going concern over and above the aggregate value of its tangible property. Benjamin will argue that a business that generates such substantial profits on relatively small tangible assets has developed substantial “goodwill” or “going concern” value. Susan apparently intends to continue the business without Benjamin, thereby appropriating the value of the goodwill for herself, without compensation to Benjamin.

When a partnership is wrongfully terminated, the partner who has caused the wrongful dissolution is not entitled to an accounting for the value of the goodwill of the business if the business is continued. UPA § 38(2) (c) (II). By implication, where the partner seeking such an accounting has done nothing wrong, he is entitled to compensation for the value of the goodwill of the business where it is to be continued by the other partner. *See Meyer v. Lofgren*, 949 S.W.2d 80 (Mo. Ct. App. 1997). The RUPA does not address accounting for goodwill of the business and there have been no reported cases interpreting the RUPA’s approach to allocating the issue of goodwill among partners.

Susan will argue, on the other hand, that because she is a professional, there is no goodwill attributable to the business itself, but rather any “going concern” value is attributable to her own reputation and individual skill. The reputation of a professional partnership, such as partnerships of attorneys, physicians, or dentists, depends upon the individual skills of the members, and thus, it could be argued that there is no goodwill to be distributed as an asset upon the dissolution of such a partnership. *See, e.g., Gaydos v. Gaydos*, 693 A.2d 1368 (Pa. 1997) (where goodwill is “intrinsically tied to the attributes and/or skills of certain individuals” it “does not survive the disassociation of those individuals from the business”); *see also Salinas v. Rafati*, 948 S.W.2d 286 (Tex. 1997); *Welder v. Green*, 985 S.W.2d 170 (Tex. Ct. App. 1998). Susan will also argue that in continuing the business she is simply exercising her right to pursue the same business after dissolution; partnership law does not imply any covenant to compete or to engage in the same business after dissolution of the partnership, and here there is no explicit agreement to the contrary. Had Benjamin desired to protect himself from the possibility that Susan would terminate the partnership once the business became profitable, insufficiently recognizing the value of Benjamin’s start-up capital, Benjamin should have insisted that the partnership agreement be in writing and for a specific term of years.

Further, Susan will argue that under the terms of the oral partnership agreement, which Susan complied with, Benjamin’s capital investment has been repaid in full, with interest, and Benjamin has no further legitimate claims upon the future earnings of Susan’s personal efforts.

The likely outcome is that Benjamin is entitled to receive one-half of the \$8,500 in the partnership bank account, and depending on the conclusion reached from the foregoing discussion, one-half of any goodwill of the partnership.

FEDERAL CIVIL PROCEDURE/CONFLICT OF LAWS ANALYSIS

(Federal Civil Procedure II.A, IV.C / Conflict of Laws III.F)

ANALYSIS

Legal Problems:

- (1) In ruling on Defendant's motion for judgment as a matter of law, should the federal district court adopt the interpretation it prefers of the State A sidewalk-repair statute or apply what it believes is the likely interpretation by the State A Supreme Court?
- (2) If the trial court concludes that the defendant is entitled to judgment as a matter of law, should the trial court defer its decision until after the jury renders a verdict?

DISCUSSION

Point One (50-60%)

The federal district court should adopt the interpretation of the statute that it believes would be adopted by the State A Supreme Court. On that interpretation, Defendant is entitled to judgment as a matter of law.

Under the Federal Rules of Civil Procedure, judgment as a matter of law (JMOL) is appropriate when a "party has been fully heard" and "there is no legally sufficient evidentiary basis for a reasonable jury to find for that party" F.R.C.P. 50 (a) (1). Thus, the question is whether, under the applicable law, the jury could find any facts that would entitle plaintiff to recover from defendant. If not, then defendant's motion for judgment as a matter of law may be granted.

This case is a diversity case. *See* 28 U.S.C. § 1332. When a federal court is hearing a case under its diversity jurisdiction, it must apply the same substantive law that would have been applied if the suit had been filed in a court of the state where the federal court is located. *Erie Railroad v. Tompkins*, 304 U.S. 64 (1938). The federal court is not free to make its own independent judgment, from a policy standpoint, of the better construction of a statute worded like State A's sidewalk-repair law. *Id.* Instead, the federal court must try to predict from available State A case law how the State A Supreme Court would be likely to interpret the statute. "The federal court must keep in mind ... that its function is not to choose the rule that it would adopt for itself, if free to do so, but to choose the rule that it believes the state court, from all that is known about its methods of reaching decisions, is likely in the future to adopt." Wright, *Federal Courts* 397 (5th ed. 1994). Once the federal court makes this prediction, it must apply that construction of the statute, whether it agrees with it or not. *See Adams v. Madison Realty & Dev., Inc.*, 853 F.2d 163 (3rd Cir. 1988).

In this case, the federal district court has concluded, albeit reluctantly, that the State A Supreme Court probably would rule that its sidewalk-repair statute was not intended to impose tort liability on abutting landowners. Therefore, even if the hole was in fact located in an area of the

parking strip that abutted Defendant's property, he is not liable for Plaintiff's injury and is entitled to prevail in this case as a matter of law.

Point Two (40-50%)

Having concluded that Defendant is entitled to judgment as a matter of law, the court should nevertheless defer ruling on the motion until after the jury has rendered a verdict in order to avoid the necessity for a retrial in the event the judge's legal ruling is overturned on appeal.

In view of the answer to the first question, it may seem that the answer to the second one is a foregone conclusion: the trial court should now grant Defendant's motion for a directed verdict. In fact, however, the much preferred course is for the trial court to reserve its ruling on this motion and submit the case to the jury to resolve the disputed factual question concerning the location of the hole. Wright & Miller, *Federal Practice & Procedure* § 2533 at 319. Rule 50 permits, but does not require, a trial judge to grant judgment as a matter of law during the trial. Sometimes there are sound reasons for the judge to reserve decision on such a motion until after a jury verdict. See Advisory Committee Notes to 1991 Amendment to Fed. R. Civ. P. 50.

If the jury concludes that the hole was actually located in front of the adjoining Todd house, the legal issue raised by Defendant's motion becomes moot. Without deciding the meaning of the State A statute one way or the other, the court could then simply enter judgment for Defendant on the basis of the jury's verdict in his favor. See *Chicago, Rock Island & Pacific Railroad Co. v. Breckenridge*, 333 F.2d 990, 991 (8th Cir. 1964). This result would be preferable to a ruling based on a guess about the statute's meaning. On the other hand, if the jury resolves the factual issue concerning the hole's location in favor of Plaintiff, the defense simply renews post-trial its motion for judgment as a matter of law. The judge can then grant the motion. The advantage of this "reserved decision" procedure comes into play if Plaintiff appeals from the judgment entered for Defendant. If the trial judge's decision as to the meaning of the State A statute is overturned, the appellate court can reverse the judgment entered for Defendant and direct the trial court to enter judgment for Plaintiff on the basis of the jury verdict in her favor. See *Shewmaker v. Capital Transit Co.*, 143 F.2d 142, 143 (D.C. Cir. 1944); see also Advisory Committee's Note to Subdivision (b) of Rule 50, 1991 Amendments to Fed. R. Civ. P.

If the court were to grant the defense motion for judgment made at the conclusion of the evidence and the plaintiff then succeeded in reversing the trial court, the appellate court would have to remand the case for a new trial. The time and effort of the trial court, the parties, and the jury at the first trial would have been unnecessarily wasted. See, e.g., *Seganish v. District of Columbia Safeway Stores, Inc.*, 406 F.2d 653 (D.C. Cir. 1968); see also *Shaw v. Hines Lumber Co.*, 249 F.2d 434 (7th Cir. 1957).

FAMILY LAW ANALYSIS

(Family Law I.E, V.A, VI.B)

ANALYSIS

Legal Problems:

- (1) Is Ben released from his obligation to support Carol where Alice conceived Carol after she stopped using birth control without Ben's agreement?
- (2) In the absence of an explicit agreement to share their assets, under what circumstances is a cohabitant entitled to a share of assets titled in the other cohabitant's name?
 - (a) Have Alice and Ben entered into a common-law marriage such that marital property laws apply to them in light of the facts that they have cohabited and share a common surname but do not subjectively intend to be married?
 - (b) In the absence of a common-law marriage, are Alice and Ben entitled to share in each other's assets accumulated during the cohabitation?

DISCUSSION

Point One (15-20%)

A biological father, whether married or not, is obligated to support his child, regardless of whether he intended or wanted to father a child.

Parents are legally obligated to support their children, regardless of whether they are marital or nonmarital children. The facts state that Ben does not deny paternity.

Ben will argue that he cannot be held responsible for child support because he did not agree to Alice's becoming pregnant and expressly said that he did not want to have children. Courts have, however, uniformly rejected this argument. The reason is the overriding public policy in favor of children being supported, combined with the implicit or explicit conclusion that a man who has sexual relations with a woman necessarily takes the risk that she may become pregnant. *See, e.g., Matter of L. Pamela P. v. Frank S.*, 449 N.E.2d 713 (N.Y. 1983) (rejecting argument that mother had deprived father of his constitutional right to decide whether to be a parent); *Stephen K. v. Roni L.*, 164 Cal. Rptr. 618(1980) (rejecting breach of contract, fraud and misrepresentation arguments); *Douglas R. v. Suzanne M.*, 487 N.Y.S.2d 244 (1985) (same); *Linda D. v. Fritz C.*, 687 P.2d 223 (Wash. 1984) (same). *See generally* Pinhas Shiftan, *Involuntary Parenthood: Misrepresentation as to the Use of Contraceptives*, 4 Intl L.J. Law & Fam. (1990); Note, *Misrepresentation of Sterility or of Use of Birth Control*, 26 J. Fam. L. 623 (1987-88).

Point Two

Alice and Ben do not have a common-law marriage and their property rights depend on legal theories applicable to unmarried cohabitants. Ben is probably entitled to a share of the securities, but Alice is probably not entitled to share in Ben's invention.

The economic rights of Alice and Ben depend in the first instance on whether they are married. If so, the securities and at least some of the earnings from Ben's patent would be marital assets subject to equitable distribution if they divorced. As indicated below, however, Alice and Ben do not have a common-law marriage, and their rights in the assets are, therefore, determined by other legal principles.

Point Two (a) (25-35%)

If cohabitants do not subjectively intend to be married, they have not entered into common-law marriage, even though they share a common name and are otherwise known as a couple.

In most states that allow people to enter into common-law marriage, the party claiming that such a marriage exists must prove at a minimum (1) that the parties cohabited, (2) that they held themselves out as married, and (3) that they intend to be married. Homer H. Clark, Jr., *Domestic Relations* § 2.4 (student ed. 1988). Alice and Ben did cohabit, and it could be argued that they have represented themselves as married, or at least as a couple, by their use of a common surname and their having commingled their finances. However, because they expressly do not intend to be married, they have not entered into a common-law marriage. Often, the emphasis in common-law marriage cases is placed on the couple's "holding themselves out" as married, and intent to be married is inferred from that fact. However, in this case, we are told that the parties did not believe in marriage and that fact was generally known. Under these circumstances, an inference of intent from "holding out" would be inappropriate. Thus, principles of divorce property distribution do not apply, and any property rights of Alice and Ben arise outside of marriage.

Point Two (b) (45-55%)

In some states, a cohabitant has no right to assets titled in the other's name absent an express agreement to share assets. In other states, a cohabitant may have a claim based on implied contract, resulting trust, constructive trust, or *quantum meruit*. Ben is probably entitled to a share of the securities, but Alice is probably not entitled to share in Ben's invention.

In the majority of jurisdictions, if unmarried cohabitants agree to share property or otherwise to engage in forms of economic sharing, their agreement is enforceable, so long as the economic sharing is not intended as payment for sexual services. See Carol Bruch, *Cohabitation in the Common Law Countries a Decade After Marvin: Settled In or Moving Ahead?* 22 U.C. Davis L. Rev. 717 (1989); see also Clark, *supra*, § 1.2. Some jurisdictions continue to refuse to recognize such claims. See *Hewitt v. Hewitt*, 394 N.E.2d 1204 (111. 1979) (rejecting claim by unmarried cohabitant to property because relationship contrary to state public policy in support of marriage).

Assuming that this jurisdiction recognizes such claims, it appears that Ben has a claim to the securities, although Alice may not have a claim for a share of Ben's invention. The facts do not

indicate that the parties had an express agreement to share the benefits of any of Ben's inventions. Although Ben might argue that Alice's statement that she would invest their savings "for retirement" constituted an express contract to share the securities purchased with those savings, this argument seems thin. However, in divorce cases from the era before equitable distribution law, on similar facts courts typically found that such words were not definite enough to create an explicit contract. *See, e.g., Wirth v. Wirth*, 326 N.Y.S.2d 308 (1971); *Saff v. Saff*, 402 N.Y.S.2d 690 (1978), *appeal dismissed*, 389 N.E.2d 142 (N.Y. 1979).

Even without an express contract, however, a court might still consider dividing the property. Some courts, following the lead of the California Supreme Court in *Marvin v. Marvin*, 55 P.2d 106 (Cal. 1976), also allow unmarried cohabitants to seek remedies based on implied-in-fact contract, resulting trust, constructive trust, or *quantum meruit* theories. Courts' application of these theories varies substantially. Unless a court applied these remedial theories very narrowly, Ben could probably make a successful claim to a share of the securities titled in Alice's name because they are traceable to his earnings, but Alice is less likely to prevail in her claim for a share of the profits from Ben's invention.

First, on these facts, some courts would say that Ben and Alice's having commingled their finances was sufficient to show an implied-in-fact contract to share all of the economic fruits of the relationship, while others would not. *Compare Shuraleff v. Donnelly*, 817 P.2d 764 (Or. App. 1991) with *Friedman v. Friedman*, 24 Cal. Rptr. 892 (Cal. App. 1993).

Second, Ben might claim a resulting trust. To make a claim to property titled in the name of another on a theory of resulting trust, traditionally a person must have contributed money to the purchase of the asset under circumstances indicating that the contributor intended to retain equitable ownership of an interest in the asset, rather than making a gift. Under this theory, Ben might successfully claim that he intended to retain a beneficial ownership in the securities purchased with his savings. Alice, however, did not contribute money to the development of Ben's invention, and so would not have a claim based on this theory.

Third, Ben might argue constructive trust. A constructive trust is imposed to prevent a party from being unjustly enriched by profiting from wrongful conduct. On this theory Ben might have a claim for a share of the securities on the theory that Alice had defrauded him into allowing her to take title to his money. However, some of the divorce cases cited above rejected such arguments on the basis that the party in whose name the property was titled never misrepresented what he or she was doing, thus taking a very narrow view of fraud. Alice, however, would have a difficult time making a claim to the invention under this theory because the facts do not indicate that Ben made any representations to Alice about the invention upon which she could rely.

Fourth, there is the possibility that either party might claim recovery based on a *quantum meruit* claim, which requires that a person pay the fair market value of services rendered to avoid unjust enrichment. While the facts are not clear as to whether either performed services for the other that resulted in unjust enrichment, Alice did take care of the investing, while Ben was able to tinker in his workshop. Alice, then, performed financial services that gave Ben the leisure time to work on his invention. The claim is, however, unlikely to succeed.

Finally, if either the investment or invention activities could be proved to be joint economic ventures, then Alice or Ben might have a claim based on a partnership theory. *See* Leslie Harris,

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Lee Teitelbaum, & Carol Weisbrod, *Family Law* 170 (1996). The facts do not, however, support a partnership claim.

COMMERCIAL PAPER ANALYSIS

(Commercial Paper II.F, II.H, III.A)

ANALYSIS

Legal Problems:

- (1) Does the unauthorized addition of an amount by the payee of an incomplete instrument bind the obligor when a subsequent good-faith purchaser for value attempts to enforce the note as completed?
- (2) Does an oral agreement between the obligor and the payee concerning the note's due date bind a subsequent good-faith purchaser of the note?

DISCUSSION

Point One (55-65%)

Because Carl took the note for value and in good faith without notice of the alteration, Carl may enforce the note according to its terms as completed.

One of the requirements of negotiability under Article 3 of the Uniform Commercial Code is that there be an unconditional promise to pay a fixed amount of money. UCC §3-104(a). In this case, when Andy issued the note to Barbara, the space for showing the amount due was left blank. If the amount space had remained blank, the note would not have been negotiable to Carl. But, when Barbara filled in this amount, albeit fraudulently, the note became negotiable to a holder in due course,

UCC § 3-115 covers incomplete instruments, which include signed writings, "the contents of which show at the time of signing that it is incomplete but that the signer intended it to be completed by the addition of words or numbers." The note that Andy issued to Barbara therefore qualifies as an incomplete instrument. Once completed, a previously incomplete instrument may ordinarily be enforced "according to its terms as augmented by completion." *See also* UCC § 3-412. However, UCC § 3-115(c) says that if "words or numbers are added to an incomplete instrument without authority of the signer, there is an alteration of the incomplete instrument under Section 3-407." Because Barbara clearly had no authority to type in \$20,000 as the amount payable on the note, her doing so constituted an alteration of the incomplete instrument, and the rules of § 3-407 will determine its effect.

UCC § 3-407(b) sets out a general rule that fraudulent alterations such as the one made by Barbara serve to discharge the party whose obligation is affected by the alteration, here Andy. That rule, however, is specifically made subject to UCC § 3-407(c), which provides that a person such as Carl, who takes the note for value, in good faith, and without notice of the alteration, is allowed to enforce the note against the original obligor according to its terms as completed. *See also* UCC § 3-412. Thus, Carl may insist that Andy pay him \$20,000 rather than just the \$10,000 that Andy had agreed to pay to Barbara. Official Comment 2 to UCC § 3-407 justifies this result: "If blanks are filled or an incomplete instrument is otherwise completed, subsection (c)

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places the loss upon the party who left the instrument incomplete by permitting enforcement in its completed form.”

Another way to explain this result is to say that Carl is probably a holder in due course, UCC § 3-302(a), and therefore he takes free of the defense that Andy is trying to assert against him as a way to avoid payment. UCC § 3-305(b).

Point Two (35-45%)

Because the note did not indicate a particular due date. Carl may enforce the note immediately as a demand note.

The fact that the due date was left blank did not affect negotiability. There is a requirement in § 3-104(a) (2) that a negotiable instrument be payable “on demand or at a definite time.”

UCC § 3-108(a) (2) tells us that a promise or order is payable on demand if it does not state any time of payment. In this case, since the due date was never filled in, Carl could treat the note as a demand note and insist that Andy pay him immediately. Although Andy had an agreement with Barbara that the note would not be due until October 1, that agreement will not bind Carl, who is a good-faith purchaser for value without notice of Barbara’s alteration. This is consistent with the idea expressed in Official Comment 2 to UCC § 3-407 that good-faith purchasers for value should not be adversely affected by the original obligor’s omissions, and that the loss in cases like this should be placed on the party who left the instrument incomplete, in this case, Andy..

DECEDENTS' ESTATES ANALYSIS

(Decedents' Estates, Wills)

ANALYSIS

Legal Problems:

- (1) Is Bill, who was never adopted by Tom but who was raised by Tom, entitled to a share of Tom's estate?
- (2) Is Chris, born to Tom out of wedlock, entitled to a share of Tom's estate?
- (3) Is the lifetime gift to Anna an advancement, and, if so, is it taken into account in computing Danny's share of Tom's estate?
- (4) Would any of the lifetime gifts to Bill or Chris be taken into account in computing any share of Tom's estate to which they might be entitled?

DISCUSSION

Summary

In all states, an intestate's estate is distributable solely to the intestate's surviving issue when the intestate dies without a spouse, as Tom did. In this problem, the question arises who among Anna, Bill, Chris, and Danny are issue of the intestate and whether any of the lifetime transfers to them are advancements for purposes of computing their shares in Tom's estate. Under the laws of all states and here, there is no doubt that issue born-in-wedlock are an intestate's heir. Thus Danny's rights as an heir are unquestioned. However the amount of his share could be affected by the doctrine of advancements. See Point Three.

Point One (30-35%)

Bill would not be entitled to any share of Tom's estate unless Bill could establish that he was entitled to a share of the estate under the doctrine of "equitable adoption" or "adoption by estoppel." However, it is unlikely Bill could successfully claim to have been equitably adopted.

Bill was never legally adopted by Tom and, in fact, has no biological or legally created relationship to Tom. Thus, without more, Bill is entitled to no share of Tom's estate. However, if Bill could establish an adoption by estoppel, Bill could inherit from Tom as if Bill were Tom's legally adopted child.

Courts apply the doctrine of adoption by estoppel or equitable adoption where there is a finding of either an express or implied promise to adopt and the child "stood from an age of tender years in a position exactly equivalent to a formally adopted child." *Wheeling Dollar Saving & Trust Co v. Singer*, 162 W. Va. 502, 250 S.E.2d 369 (1978). The facts in this case do not appear to support Bill's claim to an equitable adoption because, among other things, there is no express promise to adopt and Bill was well beyond "tender years" before he even came into Tom's home. Further, a

promise to adopt is not likely to be implied. Courts have rarely implied a contract to adopt even when a stepparent raises a stepchild, which is not even the fact in this case. *See Matter of Van Cleave's Estate*, 610 S.W.2d 620 (Mo. 1980).

Even if Tom had married Nancy, Bill, as a stepchild, would not have been entitled to any share of Tom's estate since stepchildren are not "children" for purposes of inheritance under the state law.

Point Two (25-30%)

Chris, born to Tom out of wedlock, is entitled to a share of Tom's estate because Tom recognized his paternity of Chris.

Chris is a biological child of Tom. However, Chris was born out of wedlock. While the common law prohibited a child born out of wedlock from inheriting, most states have enacted statutes allowing children born out of wedlock to inherit under certain circumstances. Typically, an illegitimate child can inherit from a deceased father provided paternity is proved. Laws that preclude an illegitimate child from inheriting from the father are unconstitutional. *Trimble v. Gordon*, 430 U.S. 762 (1977). States differ, however, regarding the burden of proof that a child born out of wedlock must meet to establish paternity, ranging from "preponderance of evidence" in some states to evidence that is "clear and convincing" in other states. Some states may also impose additional requirements such as recognition of paternity in writing or by some other act; some may require a judicial order of paternity. Under the Uniform Probate Code, a person is a child of his or her biological parents without regard to the parents' marital status. UPC §2-114(a).

In this problem, a specific statute deals with the right of a child born out of wedlock to inherit from the father. Although Tom's paternity was never judicially established, Chris can prevail if paternity was otherwise recognized by Tom. This should be easy for Chris to prove or demonstrate. First, the facts state that Tom had acknowledged that he was Chris' father. Second, Tom's letter to Chris at the time he gave Chris the \$50,000 referred to Chris as his child.

Point Three (20-25%)

The lifetime gift to Anna was probably intended minimally as an advancement and, if so intended, reduces the share of Tom's estate passing by intestacy to Anna's child, if the governing statute were to so provide.

Historically, a lifetime transfer to a person who was the transferor's heir was treated as a down payment (also known as an advancement) of the transferee's share of the transferor's estate. Most states now treat such transfers as gifts, rather than advancements, but preserve the concept of advancements under certain circumstances. State laws vary greatly on their laws of advancement and particularly on what acts are sufficient to rebut the presumption that a lifetime transfer is a gift and not an advancement. For example, under the Uniform Probate Code a transfer can be an advancement "only if (i) the decedent declared [his or her intent to that effect] in a contemporaneous writing," or the heir acknowledged the transfer to be an advancement, or "the decedent's contemporaneous writing . . . otherwise indicates that the gift is to be taken into account in computing the division and distribution of the decedent's intestate estate." UPC § 2-

109(a). On the other hand, in many states no writing is required and any competent proof is admissible to establish the transferor's intent that the transfer was an advancement. *See* W. McGovern, S. Kurtz & J. Rein, *Wills, Trusts and Estates* § 1.5 at 26-27 (1988).

In this problem, it could be argued that Tom would have intended any share Anna could claim in Tom's estate to be reduced by \$50,000. This is evidenced by the contemporaneously written note Tom gave Anna stating: "You have been a constant disappointment to me over these years. Take this but expect no more from me." While Tom did not expressly state that the \$50,000 was an advancement, it can be argued that this note evidences an intent to limit the amount Anna would receive from Tom in the future. Furthermore, when this note is read alongside the other notes, it seems clear Tom did not intend Anna to receive any more from his estate.

It could also be argued that the note expresses nothing more than Tom's statement that Anna would be receiving no more gifts from Tom, and that Tom did not intend the note to evidence any intent that Anna not take an intestate share. This argument seems less plausible in light of all the facts.

If the transfer to Anna is an advancement, since Anna predeceased Tom, it remains to be determined what effect the transfer to Anna has on the share of Anna's son Danny (Tom's grandchild) who takes whatever share of Tom's estate Anna would have been entitled to take. State laws differ on the question of whether the share of an heir of an advancee is diminished by advancements to his or her ancestors. *Compare* N.Y. EPTL § 2-1.5 and 111. Rev. Stat. ch. 755 § 5/2-5 (share of successor to advancee affected) *with* Tex. Prob. Code Ann. § 44 (share of successor of advancee unaffected unless transferor by contemporaneous writing indicates it should be). Thus, whether the grandchild's share is affected depends on underlying state law, which the facts do not specify.

Point Four (5-10%)

The lifetime gifts to Bill or Chris were not intended as advancements and, therefore, to the extent either of them is entitled to a share of Tom's estate, they would not reduce the size of the share either of them would otherwise be entitled to receive.

In his notes to Bill and Chris, Tom referred to the \$50,000 as gifts. Further, no language in the note suggests that Tom intended the gift to reduce the size of the share either Bill or Chris would receive in Tom's estate. Of course, Bill may not be entitled to any share of Tom's estate, in which case the question of whether the \$50,000 transferred to Bill is an advancement is moot.

In summary, Chris is treated as an heir, the gift to him is not an advancement, Bill is probably not an heir, and whether Danny's share is reduced by the advancement to his mother is unclear.

CORPORATIONS ANALYSIS

(Corporations I.A, II.A, II.B)

ANALYSIS

Legal Problems:

- (1) Is a promoter personally liable on a preincorporation contract with a third party?
- (2) Is a corporation, once incorporated, liable on a preincorporation contract with a third party?
- (3) Does a corporation have the corporate power to use a portion of its profits to make a charitable contribution?

DISCUSSION

Point One (30-40%)

As a promoter, Carl is probably personally liable on the contract with Leaseco since the facts do not show that Leaseco agreed to look solely to SSC once formed for performance.

Carl was acting as a promoter when he entered into the lease with Leaseco for the office space. A promoter is the party who assists in the planning and formation of a new business. Hamilton, *Corporations* § III. A (3d ed. 1992). A promoter who enters into a contract with a third party on behalf of a corporation that both parties to the transaction know is not yet formed is personally liable on the contract unless the other party to the transaction agrees to look solely to the corporation for performance. *Stanley J. How & Assoc., Inc. v. Boss*, 222 F. Supp. 936,939 (S.D. Iowa 1963); *Quaker Hill, Inc. v. Parr*, 148 Colo. 45,364 P.2d 1056,1058 (1961). Where a person knowingly enters into an agreement with a promoter on behalf of a nonexistent corporation, there is an inference that the person intends to make a present contract with an existing person. *See White & Bollard, Inc. v. Goodenow*, 58 Wash. 2d 180, 184, 361 P.2d 571 (1961). As a result, there is a rebuttable inference that the parties intend the promoter to be a party to the contract. *See* Restatement (Second) of Agency § 326 comment b (1958).

The form of the contract entered into is an important factor in determining how preincorporation contracts are treated. The type of preincorporation contract at issue in this question is a contract by a promoter with a third party in the name of a corporation to be formed. In this circumstance, it is clear that both parties were aware at the time the contract was entered into that a corporation had not yet come into existence. Under such circumstances, the promoter is nearly always liable for the contract until the corporation is formed. *See Southern-Gulf Marine v. Camcraft, Inc.*, 410 So. 2d 1181 (La. Ct. App. 1982); *McDaniel v. Service Food & Supply, Inc.*, 271 Md. 371 (1974); *Clinton Investors Company, II v. Berne Watkins*, 536 N.Y.S.2d 270 (1989). The only exception is where it is clear that the third party agreed to look solely to the to-be-formed corporation for payment. *Sherwood & Roberts-Oregon, Inc. v. Alexander*, 269 Ore. 389 (1974).

The facts do not rebut the inference that the parties intended Carl, the promoter, to be liable on the lease. Carl moved his operations into the office space and began business immediately after execution of the contract and prior to incorporation of SSC. This suggests that the parties intended someone to be immediately bound. Since the corporation was not yet in existence, the only person that the parties could have intended to be bound was Carl. The facts do not indicate that Leaseco looked solely to the corporation to be formed for performance under the lease.

Sometimes a transaction between a promoter and a third person is interpreted as an offer by the third person to be conveyed to the corporation by the promoter when the corporation is formed. *See* Restatement (Second) of Agency § 326 comment b (1958). However, in this situation, where the parties desired to sign the lease immediately and where Carl immediately moved into the leased space and began business operations, it appears that the parties did not intend only an offer to the future corporation, but instead a present contract between Carl and Leaseco.

Subsequent adoption of a preincorporation contract by the corporation after it is formed generally would not release the promoter from liability unless there is a novation by which Leaseco agrees to release Carl from liability and look solely to SSC. *See, e.g., Decker v. Juzwik*, 255 Iowa 358, 121 N.W.2d 652, 659 (1953) (finding a novation). Whether or not SSC adopted the lease (see discussion in Point Two below), the facts presented here do not suggest that a novation with Leaseco occurred. Therefore, Carl's liability on the lease would continue even if SSC was deemed to have adopted the contract.

A promoter who has not violated any fiduciary duties to the corporation but is held liable on a preincorporation contract will often be able to obtain indemnity from the corporation. Hamilton, *Corporations* 176 (3rd ed. 1992). In addition, indemnification of the promoter may be provided for in the organizational documents signed by the initial board of directors in connection with incorporation of the corporation.

Point Two (30-40%)

Although not originally a party to the lease, SSC is probably liable on the lease with Leaseco since it appears that SSC adopted the lease as its own by accenting the benefits of the lease with full knowledge of the contract.

SSC was not originally a party to the lease. Because SSC did not exist when the lease was entered into, Carl could not have been acting as the agent of SSC in entering into the lease. Upon incorporation, a corporation is not automatically bound by the contracts previously entered into by its promoters. Henn & Alexander, *Laws of Corporations* §107 (3d ed. 1983). However, after the corporation is formed, a corporation may adopt a preincorporation contract and become liable under that contract. A corporation may adopt a contract in the same manner as it may make an original contract. Thus, in an appropriate case the adoption need not be express, but rather may be inferred from the actions of the corporation or its agents. *See McArthur v. Times Printing Co.*, 48 Minn. 319, 51 N.W. 216, 216-17 (1892); *Stolmeierv. Beck*, 232 Neb. 715, 441 N.W.2d 888 891 (1989).

On the current facts, the SSC board was given a copy of the Leaseco lease and was aware of its terms, SSC occupied the leased office space, SSC paid the favorable rent for many months, and

SSC generally accepted the benefits of the lease. A court would likely conclude that SSC had adopted the lease made on its behalf prior to incorporation.

Point Three (10-20%)

SSC has statutory power to make the charitable contribution because it is reasonable in amount and purpose.

Modern corporation statutes provide a corporation with statutory powers that need not be stated in the articles of incorporation. *See* Revised Model Business Corporation Act (RMBCA) § 3.02; Del. Gen. Corp. Law § 122. One of these powers is the power to make donations for charitable, scientific, or educational purposes. RMBCA § 3.02 (13); Del. Gen. Corp. Law § 122 (9).

Courts have found that a reasonable charitable contribution is within the statutory power of the corporation. *See Kahn v. Sullivan*, 594 A.2d 48 (Del. 1990); *Theodora Holding Corporation v. Henderson*, 257 A.2d 398,404-05 (Del. Ch. 1969); *A. P. Smith Manufacturing Co. v. Barlow*, 13 N.J. 145,98 A.2d 581, appeal dismissed 346 U.S. 861 (1953).

In determining whether a contribution is reasonable, a court will focus heavily on the amount of the contribution. *Cf. Theodora Holding Corp., supra*, at 405 (concluding that the Internal Revenue Code provisions pertaining to corporate charitable contributions provide a “helpful guide” on the issue of reasonableness). In this case a court is likely to find that the amount of the charitable donation authorized by the resolution of the board of directors (i.e., 4% of profits) is reasonable in amount.

A court may also look at the purpose of a charitable contribution to determine whether it is reasonable. However, as long as the donation is not made indiscriminately, the judgment of the corporate officials that the contribution furthers corporate interests is likely to be accepted. *Cf. A.P. Smith Manufacturing Co. v. Barlow, supra*, at 590 (no showing that donation to Princeton University was indiscriminate). A court is likely to determine that the donation by SSC is a reasonable means of “increasing good will and promoting patronage.” *Memorial Hospital Association v. Pacific Grape Products Co.*, 45 Cal. 2d 634,290 P.2d 481 (1955). Since SSC is in the business of providing support services to small businesses, a contribution to a job training program has a reasonable relation to its business.

Absent statutory authority to make reasonable charitable contributions or specific authority to do so in the articles of incorporation, a corporation’s charitable contributions might be void under the ultra vires doctrine. This doctrine invalidates corporate acts inconsistent with the corporation’s purposes as stated in its articles. Today, most courts would not find the making of charitable contributions ultra vires and even in the absence of express statutory authority, find corporate contribution by board action consistent with the board’s authority to conduct corporate affairs.

2000
MEE Questions
and Analyses



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Preface

This publication includes the questions and analyses from the February 2000 and July 2000 Multistate Essay Examinations. Each test includes seven questions; most jurisdictions that use the MEE select the six questions their applicants will answer.

These model analyses to the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions for the sole purpose of assisting graders in grading the examination. These models are not an official grading guide. Some jurisdictions grade the MEE on the basis of state law, and jurisdictions are free to modify the analyses as they wish, including the suggested weights given to particular points. Grading of the MEE is the exclusive responsibility of the jurisdiction using the MEE as part of its admissions process.

The topic or topics covered by each question are listed on the first page of its accompanying analysis, followed by Roman numerals which refer to the MEE subject matter outline for that topic. For example, Question 1 on the February 2000 MEE tested Secured Transactions 11.D, Definitions; “account”; “purchase money security interest” (§§ 9-105, 9-106, 9-107); II. E, Classification of goods (§ 9-109); II.I.D, Use or disposition of collateral by debtor (§ 9-205); and IV.F, Priority among conflicting security interests (§ 9-312). Subject matter outlines are included in the MEE Information Booklet and can also be found at www.ncbex.org.

Description of the MEE

The MEE is a three-hour examination consisting of six questions. The examination is administered in one continuous three-hour time period. Applicants are expected to spend approximately thirty minutes answering each of the questions. The areas of law covered by the questions in the examination are: Agency and Partnership, Commercial Paper, Conflict of Laws, Corporations and Limited Liability Companies, Decedents’ Estates, Family Law, Federal Civil Procedure, Sales, Secured Transactions, and Trusts and Future Interests. Some questions include issues in more than one area of law.

The purpose of the MEE is to test the applicant’s ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the applicant to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test form contains the following instructions:

Do not break the seal on this booklet until you are told to begin.

You will have three hours in which to write your answers to six of the seven questions contained in this booklet; you will be told which of the questions you are to answer. Each question is designed to be answered in thirty minutes. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise, simply draw a line through the material you wish to delete.

Read each fact situation very carefully and do not assume facts which are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show: an understanding of the facts; a recognition of the issues included; the applicable principles of law; and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Some jurisdictions instruct applicants to answer MEE questions according to the law of the jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

February 2000 MEE

► *QUESTIONS*

Secured Transactions
Agency & Partnership
Federal Civil Procedure
Decedents' Estates
Conflict of Laws/Family Law
Commercial Paper
Corporations

SECURED TRANSACTIONS QUESTION

Jane wanted to purchase a computer for home use and for her young children to use for school work and entertainment. On January 15, Jane went to Dealer, a retail store specializing in computers, and told a salesperson of her family's needs. She was shown a computer that she was told would suffice. She agreed to buy the computer and told Dealer that she would have to borrow the money to pay for it. Dealer agreed to finance the sale and gave Jane \$3,000 in credit to buy the computer. Jane took delivery and signed a security agreement that described the computer and granted Dealer a security interest in it. Dealer did not file a financing statement.

Immediately after purchasing the computer from Dealer, Jane changed her mind about how she would use it. Jane had just begun work as an independent consultant, so she took the computer to her office and began using it for business purposes. She did not inform Dealer of this change of use.

On May 1, Jane borrowed \$25,000 from Bank as operating capital for her business. She executed a security agreement granting Bank a security interest in her office machinery, including the computer. Also on May 1, Bank filed a valid financing statement in all proper public offices.

Jane defaulted on the loans to both Dealer and Bank. On December 1, Dealer peacefully repossessed the computer. Both Dealer and Bank claim a security interest in the computer.

As between Dealer and Bank, whose security takes priority? Explain.

AGENCY & PARTNERSHIP QUESTION

Dwight L.P. is a properly formed limited partnership created to purchase, renovate, and sell the historic Dwight Building in the downtown preservation district. The sole general partner of Dwight L.P. is Able, Inc. The Dwight L.P. partnership agreement provides that it will continue its operations until such time as the Dwight Building is renovated and sold.

Initially, Able estimated that it would cost \$10 million to purchase and renovate the Dwight Building in a way that would maintain its unique architectural elements. Able's financial plan for the limited partnership was to admit limited partners who would contribute a total of \$1 million to the partnership and then to obtain an additional \$9 million in financing from a bank. Able found 10 local investors who contributed \$100,000 each to join the partnership as limited partners. Bank made a loan to Dwight L.P. of \$9 million, and Dwight L.P. bought the historic building and began work to renovate it.

Now, one year after formation of Dwight L.P., the Dwight Building renovation project has run into financial difficulty. Able failed to take into account the special requirements that the city imposed on materials and workmanship in the historic district and therefore seriously, but not fraudulently, underestimated the renovation costs of the Dwight Building. As a result, the \$10 million financing has been spent, and the renovation is only three-fourths complete. The limited partners have retained a reputable independent architectural consultant who has informed them that the project can be completed for an additional \$2.5 million and, upon completion, the building will probably be worth \$13.5 million.

In the two weeks since the limited partners and Bank were informed of the financial situation, Bank, Able, and the limited partners have had a series of meetings. Able wants to complete the project but has no capital to contribute. Bank is unwilling to grant another loan to the partnership. Able is pressuring the limited partners to make additional capital contributions to cover the costs of completion. None of the limited partners wants to contribute any additional funds, and they are not obligated to do so under the limited partnership agreement. Able has threatened to dissolve the limited partnership unless the limited partners can come up with the additional funds required within the next 10 days.

Last week, Historical Society contacted Able and offered \$10 million to Dwight L.P. to purchase the Dwight Building in its present uncompleted state. Historical Society has full information about the project, and its offer is firm. Because Able does not want to sell the building until it has been fully restored as originally intended, Able has rejected the offer without notifying the limited partners either of the offer or of Able's rejection.

Recently, the limited partners found out about Historical Society's offer and Able's failure to inform them of the offer. The limited partners believe they can no longer trust Able to run the partnership. They are now united in their desire to take one or more of the following actions: (1) dissolve the limited partnership; (2) push for the sale of the Dwight Building to Historical Society; (3) remove Able as general partner and elect a new general partner; or (4) allow Able to continue as general partner but require approval by the limited partners for every action Able takes.

1. Did Able have an obligation to inform the limited partners of Historical Society's offer? Explain.

2. Can Able carry out its threat to dissolve the limited partnership, and, if so, what options, if any, do the limited partners have as a result? Explain.
3. Can the limited partners take each of the four actions listed above without exposing themselves to unlimited liability? Explain.

FEDERAL CIVIL PROCEDURE QUESTION

Adam is a citizen of State A and practices law in State A. He represented a citizen of State A in a criminal prosecution involving drugs and in a related civil forfeiture proceeding, both of which were pending in federal district court in State A. With his client's consent, Adam telephoned Barbara, a citizen of State B practicing law in State B, and reached an agreement that Barbara would become co-counsel in the civil forfeiture case. The client had agreed to pay Adam a contingent fee equal to 50% of the value of any property prevented from being forfeited. Barbara and Adam agreed that Adam would keep the first one-third of any fee resulting from the representation in the civil forfeiture action, and that they would share in the remaining two-thirds in proportion to their respective time spent on the forfeiture matter.

During the next two months, Barbara and Adam talked by telephone on two occasions and exchanged two letters in connection with the civil forfeiture matter. Adam's work on the case was performed entirely in State A, and Barbara's work was performed entirely in State B.

At the end of the two-month period, the government entered into an agreement accepting a guilty plea in the drug action. It also settled the forfeiture claim, agreeing to allow Adam's client to retain property valued at \$480,000.

Adam refused to pay Barbara any portion of the \$240,000 received as Adam's contingent fee. Barbara subsequently brought a breach of contract action against Adam in federal district court in State B, claiming \$80,000 as her share of the contingent fee. Adam filed a motion to dismiss the action based on lack of jurisdiction over the subject matter or the person. Alternatively, Adam requested a transfer of venue to the federal district court of State A, where he resides and has his place of business. Adam's supporting affidavit stated that the settlement was in no way related to Barbara's efforts, and that Barbara's time spent on the forfeiture matter was less than one-third of the time spent by Adam.

A statute of State B provides:

A court may exercise personal jurisdiction over a person, who acts directly or by an agent, as to a cause of action arising from the person's transacting any business in this state.

How should the court rule on each issue raised by Adam's motion to dismiss and request for transfer of venue? Explain.

DECEDENTS' ESTATES QUESTION

Banks was a 70-year-old bachelor. His closest living relatives were his two nieces. Banks had long been a patron of the arts and of the Opera Society. On January 15, 1997, Banks executed a will bequeathing \$100,000 to each of his nieces and leaving his residuary estate to the Banks Foundation for Opera, a private foundation that he planned to establish when he retired. He hoped that in gratitude for his generosity the Opera Society would name the new opera house after him.

A year later, Banks learned that he had a terminal disease. He told his nieces he would leave them his entire estate if they would take care of him. They agreed to do so, and, in February of 1998, Banks moved in with his two nieces and asked his attorney to draft a new will bequeathing them all his property and expressly revoking his January 15, 1997 will.

Shortly before Banks was to execute the new will, the president of the Opera Society told Banks that the Board had agreed to name the building in his honor if they received a substantial bequest from him. Banks then decided to execute the new will using his two nieces as the only witnesses, believing this would render the will invalid. A day later, Banks signed the new will and, at his request, the nieces witnessed it. It was dated February 10, 1998. Banks placed this will inside an envelope, wrote in ink on the outside of the envelope, "Not to be opened until my death," and initialed the writing.

Banks died without having created the Banks Foundation for Opera. The February 10, 1998 will was found in the envelope with the following unsigned note in Banks's handwriting on the back of the last page of the will:

Ignore this will. I never intended to give my whole estate to my nieces. I signed it only to trick them into caring for me. Long live the Banks Opera House!

1. For what reasons, if any, could the February 10, 1998 will be denied probate as Banks's last will? Explain.
2. If the will of January 15, 1997 is probated, on what theory or theories, other than fraud, may the nieces assert a claim against the estate of their uncle for their care of him? Explain.
3. If the will of January 15, 1997 is probated, on what theory, if any, might the Opera Society assert a claim to the residuary estate? Explain.

CONFLICT OF LAWS/FAMILY LAW QUESTION

Husband and Wife married in State X. Shortly thereafter, they moved to State Y, where they were domiciled for the next 10 years of their marriage. Wife never returned to State X. Recently, however, Husband left Wife and moved to State X, which has a six-week residency requirement for a divorce action. After living continuously for six weeks in State X, Husband filed for divorce in the appropriate state court in State X. Wife was served by registered mail at the couple's home in State Y. Although she received the process, Wife did nothing in response.

The law of State X provides that a plaintiff is presumed to be a domiciliary of State X for divorce purposes upon proof of six weeks' continuous residency in State X at the time of the filing of the divorce action. The long-arm statute of State X also provides for service of process on nonresident defendants by registered mail at their last known address. It provides that jurisdiction may be exercised over nonresident defendants in actions for marriage dissolution and for alimony "to the full extent permitted by the due process clause of the United States Constitution."

The State X court issued a decree granting Husband a divorce and ruling that neither Husband nor Wife was entitled to spousal support. As soon as Wife learned of the decree, she filed her own action for divorce and spousal support in the appropriate state court in State Y, where she was domiciled. Husband was properly served with process in State Y, to which he had returned after receiving the State X divorce.

Consistent with the due process and full faith and credit clauses, may the court in State Y grant the divorce and award spousal support to Wife? Explain.

COMMERCIAL PAPER QUESTION

Aaron agreed to paint Bob and Cathy's house for \$2,000. After finishing the paint job, Aaron took as full payment from Bob and Cathy a \$2,000 negotiable note that Bob and Cathy signed as co-makers. The note was due in one month and provided for 10% interest to accrue after the due date. A week after receiving the note from Bob and Cathy, Aaron sold the note for \$1,500 to Debra, a good-faith purchaser for value. Aaron properly indorsed the back of the note.

Debra held the note for about two weeks and then sold it for \$ 1,700 to Edward, another good-faith purchaser for value. Debra also properly indorsed the note on the back, directly beneath Aaron's signature. When Edward came into possession of the note, he crossed out Aaron's signature as indorser as a gesture of friendship to Aaron. Edward then indorsed the note and sold it to Frieda for \$ 1,900.

Upon learning that Frieda was now in possession of the note. Bob approached Frieda on the note's due date and properly tendered \$2,000 in payment of the note. Frieda did not need the cash at that time and assumed the note would continue to accrue interest, so she arbitrarily refused to accept payment. Six months later, Frieda decided to collect \$2,000 in principal and \$100 in accrued interest for the note.

What are Frieda's rights to recover the principal, interest, or both from:

- a. Bob? Explain.
- b. Cathy? Explain.
- c. Debra? Explain
- d. Aaron? Explain.

CORPORATIONS QUESTION

PrattCo is a corporation. It has been developing a new textile inspection system that promises to revolutionize the market if it can be made to work. PrattCo has one class of stock, Class A Common, of which three million shares are authorized. All three million shares of the Class A Common are currently issued and outstanding. The Class A Common shares are currently trading at \$25 a share on a recognized market.

PrattCo has two immediate problems. First, it needs a new chief executive officer with the expertise and drive to get the new system working and to expand PrattCo's operations. Second, PrattCo needs at least \$75 million to finance the development of the new system and the expansion of its operations.

The PrattCo board has offered Leslie the job of PrattCo's president and chief executive officer. Leslie's salary requirements are modest, but as part of her compensation Leslie wants to receive options for 100,000 shares of Class A Common at \$25 a share, with the right to exercise the options phased over a three-year period.

Brenda has offered to invest \$75 million in PrattCo in return for three million shares of Class A Common at \$25 per share, but she wants her Class A Common shares to be different from the existing Class A Common. Brenda wants her shares to have a preference such that any dividends would be allocated first to Brenda's Class A Common shares up to \$2 per share per annum, then to the other Class A Common shares up to \$2 per share per annum, and then to all Class A Common shares equally.

William currently owns 30% of the Class A Common stock. William was an inside candidate for the position of president and chief executive officer and is bitter that Leslie was offered the job. William also disagrees with the \$75 million capital infusion from Brenda. William wants to license the new system to third-party manufacturers rather than have PrattCo expand its own operations.

William objects that: (1) the grant of the proposed stock options to Leslie is illegal; (2) the sale to Brenda of the Class A Common shares with preferential rights is illegal; (3) if the sale to Brenda can be legally accomplished, it requires William's consent; and (4) even if the grant to Leslie and the sale to Brenda can be made, William would have the right to purchase shares equal to 30% of the stock issued to both Leslie and Brenda.

PrattCo's articles of incorporation state that "the corporation elects to have preemptive rights." Assume the board and the stockholders of the remaining 70% of Class A Common will vote to hire Leslie, to grant her the options requested, and to accept Brenda's financing proposal. Also assume William has sufficient financial resources to exercise any stock purchase rights he may have.

Are each of William's four objections to PrattCo's plans valid and, if so, what steps could PrattCo take to avoid the objections? Explain

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► *QUESTIONS*

Commercial Paper

Decedents' Estates

Federal Civil Procedure

Corporations

Family Law

Secured Transactions/Sales

Trusts & Future Interests

COMMERCIAL PAPER QUESTION

On February 1, Roofer and Brother agreed that Roofer would install a new roof on Brother's house for \$8,000. They also agreed that Roofer would accept as payment a non-interest-bearing promissory note from Brother that would come due six months after Roofer finished the job.

Because Roofer had some concerns about Brother's creditworthiness, Roofer convinced Brother to have Sister, who lived in her own house, also sign the note. In addition, Brother agreed to secure his obligation on the note with a perfected security interest in Brother's three computers, each of which was worth \$2,000.

On March 1, Roofer finished installing the roof on Brother's house. On that same day, Brother issued and signed as maker an \$8,000 negotiable note payable "to the order of Roofer" and due on September 1 of the same year. Sister put her signature on the back of the note. There were no notations or descriptive words accompanying Sister's signature. At the same time, Roofer obtained and properly perfected a security interest in Brother's three computers.

On May 1, Roofer sold the note to Lender, who purchased the note in good faith for \$7,500. Before transferring the note to Lender, Roofer signed the note on the back, beneath Sister's signature. Roofer also properly transferred his security interest in the computers to Lender.

On June 1, Brother convinced Lender to release Lender's rights to one of the three computers that secured the note, and Brother sold that computer. Sister had no knowledge of this release by Lender.

On July 1, it became clear that Roofer had done such a poor roofing job that Brother would need to spend \$3,000 to fix the roof. On September 1, Lender still held the note. When Lender demanded payment, Brother refused because "the roof job was shabby."

1. Can Lender enforce the note to its full extent against Brother? Explain.
2. Can Lender enforce the note to its full extent against Sister? Explain.
3. If Sister has to pay all or part of the note, what rights, if any, does she have against Brother? Explain.

DECEDENTS' ESTATES QUESTION

Testator, a domiciliary of State A, died on February 1, 1998, leaving a net estate valued at \$100,000. Testator was survived by three children, Andy, Billy, and Cory, and one grandchild, Gary, who is Cory's only child. The following documents were found in Testator's safe deposit box:

1. At the top, there was an envelope containing Testator's canceled check dated February 1, 1990, made payable to Charity Y in the amount of \$15,000. Attached to this check were copies of other canceled checks to Charity Y paid over the previous 15 years and a copy of a note from Testator to Charity Y dated February 1, 1990, stating: "Enclosed is my check in the amount of \$15,000. I know you will use this as you have all of my prior gifts to carry out the important work of your organization. I hope I'll be in a position to do more for you in the future. Your work is very important to me."
2. Underneath the first envelope was a second envelope containing a one-page typewritten will dated September 10, 1989, leaving all of Testator's estate to Andy and Billy. Testator had duly executed this will. However, the phrase "VOID—May 18, 1993" was written in large print across the entire face of the will, and on the back of the will the following words appeared: "Revoked, because I really prefer my March 2, 1983 will."
3. Underneath the second envelope was Testator's duly executed one-page typewritten will dated March 2, 1983. In this will, Testator bequeathed "\$50,000 to Cory, \$10,000 to Charity Y, and the residue of the estate to Andy and Billy."

On October 30, 1998, Cory filed a properly acknowledged document with the appropriate persons, renouncing all rights Cory had under Testator's two wills.

State A does not permit holographic wills. Under State A law, (1) an intestate's heirs are the intestate's surviving children, and (2) the issue of any child who predeceases the intestate take the deceased child's share.

1. Under what theory could the March 2, 1983 will be probated, and to whom would the estate be distributed under that will? Explain.
2. Under what theory could the September 10, 1989 will be probated, and to whom would the estate be distributed under that will? Explain.

FEDERAL CIVIL PROCEDURE QUESTION

Claimant properly invoked the diversity jurisdiction of the federal district court to bring suit to recover damages for the death of Claimant's spouse, Wife. Claimant alleged that Wife died as a result of exposure to asbestos at BrakeCo, an employer that regularly used asbestos in its brakelining operation. The complaint sought damages from all major asbestos manufacturers, including Fiberco, and demanded a jury trial. Controlling law in all relevant jurisdictions would preclude recovery from Fiberco absent specific proof by the plaintiff of exposure to Fiberco asbestos products.

At the final pretrial conference, Fiberco argued that Claimant had failed to produce any evidence through discovery that would tend to establish that Wife had ever been exposed to Fiberco's product. Although the district court refused to grant summary judgment on this issue of exposure, the judge's final pretrial order did schedule the exposure issue as the first issue for trial to the jury (rather than permitting Claimant to put on the case in the order he would prefer). In compliance with the pretrial order, Claimant opened the trial with testimony from a former BrakeCo manager who testified that he often saw Fiberco asbestos packages in the storeroom. The manager admitted on cross-examination, however, that the first time he ever saw Fiberco products in the storeroom was after Wife had ceased working at BrakeCo, even though he was in the storeroom at least once a week throughout the period that Wife worked at BrakeCo.

At the conclusion of this testimony, Claimant's counsel indicated that Claimant had no other evidence to offer on the issue. Fiberco thereupon moved for judgment as a matter of law. The court granted the motion and dismissed the action as to Fiberco.

1. Did the district court have the power to require Claimant to present evidence on the exposure issue before proceeding with any other portion of Claimant's case? Explain.
2. Did the court err procedurally in granting the motion for judgment as a matter of law before the close of evidence? Explain.
3. Did the court err substantively in granting the motion for judgment as a matter of law? Explain.

CORPORATIONS QUESTION

In 1950, John Smith founded Store, Inc., and he was its sole shareholder. Since 1970, Store has been a profitable business with eight large stores. In 1975, Smith took several steps to try to ensure that control of the business would stay in his family. One such step was properly to amend Store's Articles of Incorporation to provide that no Store shareholder could transfer any Store stock unless the shareholders unanimously consented to the transfer and approved the transferee.

In 1990, observing the formalities required by the amended Articles, Smith gave all of his Store stock in equal shares to his four children: Anne, Bob, Clyde, and Dave. Smith died in 1992, and his four children continued Store's business. After Smith's death, Anne, Bob, and Clyde served as the officers and directors of Store, and each was also employed by the corporation. Dave was a full-time dentist and was not interested in being an officer or a director of Store.

During the years following Smith's death, Anne, Bob, and Clyde followed a policy of reinvesting Store's earnings in order to expand the number of stores. Dave consistently opposed this policy and believed that the majority of the earnings should be distributed as dividends to Store's shareholders.

After Smith's death, Store's board of directors also substantially increased the compensation paid to Anne, Bob, and Clyde as directors and doubled their salaries as employees, increasing them to levels well above market salaries. During the same period, however, the board voted to eliminate the quarterly dividends that Store had historically paid out, even though Store had sufficient profits to pay those dividends. At every shareholders' meeting, Dave objected to the way Store was being run, but he was ignored each time. Eventually, Dave advised the three other shareholders, Anne, Bob, and Clyde, that he wanted to become a member of the board of directors or, in the alternative, that he wanted them to buy his shares. They refused both requests.

Last year, Dave pledged one-half of his Store stock to Bank as collateral for a personal loan, and Dave and Bank executed a pledge agreement covering those shares. Recently, the loan came due, and Dave was unable to repay it. Consequently, Bank properly foreclosed and became the owner of the shares under the pledge agreement.

Bank has told Anne, Bob, and Clyde that it is now the owner of one-half of Dave's shares of Store stock, and Bank requests that the shares be transferred on Store's books. Anne, Bob, and Clyde have told Bank that it is not the owner of any shares of Store stock because they have not approved the transfer as required by Store's Articles of Incorporation. Therefore, Store will not record the transfer of the shares to Bank.

Dave believes he is being "frozen out" of the corporation and wants to have Store dissolved.

1. Is the stock transfer restriction enforceable against Dave? Explain.
2. Can Bank compel Store to record the stock transfer? Explain.
3. Can Dave force a dissolution of Store? Explain.

FAMILY LAW QUESTION

Fred, age 12, has a heart ailment that severely limits his physical activity. His parents do not allow him to engage in vigorous sports at school. His doctor predicts that Fred's condition will slowly worsen and that, if he is left untreated, his life expectancy will be reduced by 20 years. Medical experts say that a routine operation can correct his heart defect. However, they have also indicated that it is major surgery, which, with the required anesthetic, is always risky. The hospital stay will be about five days, and recovery from the operation will take six weeks. Although the medical experts believe that postponing the operation until Fred reaches adulthood will result in some permanent loss of function, they also believe that the operation involves slightly less risk if performed on an adult rather than a child.

Fred wants to have the operation performed. He feels left out and different because most of his friends are active in sports. Some kids call him "sicky." The school psychologist has indicated that Fred is withdrawn and unhappy at school and that he is at risk of failing in his school work because of his emotional state.

Fred's parents are opposed to the surgery. While they are concerned about the risks of surgery, an even more compelling reason for their opposition is that their religion does not allow such surgery. They believe that their prayers for Fred are heard and that his illness must be part of a divine plan. Fred's doctor disagrees and wishes to obtain a court order that will allow the operation.

Fred's parents require him to attend weekly religious services with them. Fred, however, has decided that he does not wish to follow their religion but instead wants to convert to the faith of his best friend. When Fred's parents learn that Fred's best friend has been teaching Fred about his religion, they forbid him from attending any religious services other than those of their religion.

1. Can the surgery proceed with Fred's consent only? Explain.
2. Is a court likely to order the surgery over the objection of Fred's parents? Explain.
3. Do Fred's parents have the right to direct which religious services Fred will attend? Explain.

SECURED TRANSACTIONS/SALES QUESTION

Dealer owns and operates an antique store. On January 4, Bank loaned \$250,000 to Dealer to finance Dealer's business operations. In connection with the loan, Dealer signed a security agreement that granted Bank a security interest in Dealer's "inventory" and assigned Dealer's "accounts and chattel paper" to Bank. The agreement covered "any and all obligations owed by Dealer to Bank including future advances." Later that day, Bank properly filed a financing statement reflecting its security interest.

On May 1, Thief stole a 17th-century cedar chest from Owner. Thief then sold it to Dealer. Dealer did not know the chest had been stolen. On June 1, Dealer sold the cedar chest to Purchaser, an interior designer, for \$50,000. Purchaser bought the cedar chest for resale to a client.

Purchaser made a \$10,000 down payment and signed an installment sales contract for the remainder of the purchase price, plus interest, to be paid monthly over 12 months. The installment sales contract granted to Dealer a security interest in the cedar chest and provided that all payments were to be made directly to Dealer. Purchaser subsequently made the payments due on July 1, August 1, and September 1 by sending checks to Dealer.

On September 1, Dealer failed to make a payment due on its loan from Bank. Bank immediately declared Dealer in default, as it was permitted to do under the loan and security agreements between the parties. Bank also sent a letter to Purchaser informing Purchaser of Dealer's default, advising Purchaser of Bank's security interest, and directing Purchaser to make all further payments on the installment sales contract directly to Bank. Purchaser contacted Dealer, who admitted that he was in default and that Bank had a security interest. However, Dealer told Purchaser, "Don't worry. I will pay Bank my September payment soon. Things will be straightened out. You should continue to send your monthly payments directly to me. Bank has no right to collect from you in any event. Our arrangement is between us."

On September 20, Purchaser was served with papers in a replevin action brought by Owner to recover the cedar chest. According to the complaint in the replevin action, the cedar chest had been stolen from Owner, and the bill of sale and other documents presented to Purchaser by Dealer as proof of Dealer's ownership were forgeries. Purchaser immediately answered the replevin action with a pleading alleging (a) that as a good faith purchaser for value, Purchaser's claim was superior to Owner's and (b) that any right of Owner to recover the cedar chest should be conditioned on Owner's reimbursing Purchaser for amounts paid to Dealer.

1. Who should prevail in Owner's replevin action to recover the cedar chest? Explain.
2. Assuming Purchaser prevails in the replevin action, should future payments on the installment sales contract be made to Dealer or to Bank? Explain.
3. Assuming Purchaser loses in the replevin action, does Purchaser continue to be liable for the payments on the installment sales contract either to Dealer or Bank? Explain.

TRUSTS & FUTURE INTERESTS QUESTION

Grantor was wealthy, childless, and unmarried. Grantor created a revocable living trust and transferred assets to Trustee. The trust instrument directed Trustee “to pay the trust income to Grantor for life and, upon her death, to pay the trust income to Grantor’s brother, Brother, for his life and, upon his death, to distribute the trust principal to Cousin’s children who attain age 21.”

Grantor died several years later without having modified or revoked the trust. Grantor was survived by Brother and Cousin.

When Grantor created the trust, Cousin was married to Wife and had a young child, Adam, from that marriage. Shortly after Grantor’s death, Cousin and Wife had another child, Ellen. Later, Cousin and Wife divorced, and Cousin married Second Wife. Cousin adopted Second Wife’s child, Doris, a minor. Doris presently lives with Cousin and Second Wife.

Brother has recently died survived by Cousin; Cousin’s child, Adam, age 22; and Ellen and Doris, both of whom are under the age of 21.

1. Does the trust violate the common-law Rule Against Perpetuities? Explain.
2. Assuming that the trust does not violate the common-law Rule Against Perpetuities, are Adam, Ellen, and Doris entitled to a share of the trust principal and when, if at all, would each be entitled to possession of that share? Explain.

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► *ANALYSES*

Secured Transactions
Agency & Partnership
Federal Civil Procedure
Decedents' Estates
Conflict of Laws/Family Law
Commercial Paper
Corporations

SECURED TRANSACTIONS ANALYSIS

(Secured Transactions II.D, II.E, III.D, IV.F)

ANALYSIS

Legal Problems

- (1) Should the computer be classified as a consumer good or as equipment?
- (2) Does Dealer have a perfected security interest?
- (3) Does Bank have a perfected security interest?
- (4) Does Dealer's security interest take priority over Bank's security interest?

DISCUSSION

Point One (20-25%)

When Jane bought the computer, she expressed to Dealer an initial intent to use it for "personal, family, or household" use. Therefore, the computer would most likely be classified as a consumer good.

The relevant rules for resolving the priority dispute between Dealer and Bank will be determined by how one classifies the collateral. To do that, one must look at the expressed intent at the time of purchase and the use of the collateral in the hands of the debtor. The collateral's intended use at the time of the sale was as consumer goods under § 9-109(1) of the Uniform Commercial Code. Jane originally intended to use the computer for "personal, family, or household" purposes. However, Jane's actual use turned out to be "primarily in business." If the latter use governs, the collateral will be "equipment" as defined in UCC § 9-109(2) (excluding consumer goods from definition of "equipment").

Which use governs? One approach is that the debtor's intended use at the time of the sale should govern the classification. This approach is justified on the policy ground that the secured party should be able to rely on what the debtor represents as the intended use and should not be encouraged to police the collateral and keep the debtor under surveillance. J. White & R. Summers, *Uniform Commercial Code* 783-84 (4th ed. 1995). Moreover, UCC § 9-109(1) states that goods are consumer goods if they are "used or bought" for personal use. Accordingly, the computer should be classified as a consumer good.

There is, however, authority for the proposition that the ultimate use controls. T. Crandall, R. Hagedorn, & F. Smith, *The Law of Debtors and Creditors* § 7.06[3][e] (1991). If the latter view is adopted, the computer will be deemed to be "equipment."

Point Two (30-35%)

Dealer acquired a purchase money security interest, which attached and was automatically perfected at the moment of sale without the need for the filing of a financing statement.

Assuming that the collateral is correctly classified as a consumer good, Dealer enjoyed a purchase money security interest in it. Under UCC § 9-107(a), a purchase money secured

creditor includes a seller who allows the debtor to purchase the goods on credit and takes a security interest in the goods sold. J. White, *supra*, at 765. Under UCC § 9-302(1)(d), filing is not required to perfect a purchase money security interest in consumer goods. The security interest is perfected automatically upon its attachment because the burden of filing in numerous small transactions would outweigh the benefits achieved from notice to the public. T. Crandall, *supra* § 7.06[5][b]; J. White, *supra*, at 765. Accordingly, Dealer's failure to file a financing statement was of no consequence.

There is no doubt here that a security interest attached in Dealer's favor at the point of sale. Under UCC § 9-203(1) there are three requirements for attachment of a security interest: (1) The secured party must give value, which, under UCC § 1-201(44)(a), includes "the extension of immediately available credit"; (2) The debtor must have sufficient property rights in the collateral, which Jane had when she took delivery of the computer, UCC § 2-501(1)(a); (3) Finally, for non-possessory collateral (i.e., collateral not in possession of the creditor), the debtor must have signed a security agreement, which Jane did.

If, on the other hand, the actual use of the computer governs the classification of the collateral, then the computer will be viewed as equipment, in such a case, Dealer's security interest would have attached by virtue of Jane's having signed the security assignment, but would have remained unperfected initially as a result of Dealer's failure to file. However, under UCC § 9-305 a security interest in goods may be perfected by the secured party's taking possession of the collateral. In this case, Dealer's perfection would have been delayed until December 1, when Dealer peacefully repossessed the computer following Jane's default.

Point Three (20-25%)

Bank's security interest attached and was perfected by filing on May 1.

Bank's security interest attached because the three elements of UCC § 9-203(1) were met: (1) Bank gave value by extending credit to Jane, UCC § 1-201(44)(a); (2) Jane already owned the computer collateral and had the necessary property rights; and (3) Jane signed a security agreement. Because Bank properly filed a financing statement, Bank had a perfected security interest in Jane's equipment on May 1. J. White, *supra*, at 781-83.

Point Four (20-25%)

Assuming that the collateral is properly classified as a consumer good, Dealer's security interest takes priority over Bank's because Dealer was the first to perfect its security interest. Bank's security interest would take priority over Dealer's if the collateral were classified as equipment.

Priority between two perfected security interests is governed by the first-to-file-or-perfect rule of UCC § 9-312(5)(a). T. Crandall, *supra* § 7.07[4][a]. Assuming that Dealer's security interest was automatically perfected, it would take priority over Bank's later filing. Dealer's security interest was automatically perfected on January 15 when the security interest attached. Bank's security interest was perfected on May 1 when it made a conforming central filing.

On the other hand, if a court were to hold that actual use governed the classification of the computer for Dealer, it would be classified as equipment, and Dealer would not enjoy automatic perfection. Dealer's perfection would be delayed until December 1 when it perfected by taking possession of the computer. The priority result would then be reversed, because Bank would be the first secured party to file or perfect. Bank filed its financing statement on May 1, long before Dealer repossessed.

AGENCY & PARTNERSHIP ANALYSIS

(Agency & Partnership IX.C, X.A, X.B)

ANALYSIS

Legal Problems

- (1) Does a general partner of a limited partnership have an obligation to inform the limited partners of an offer to purchase the limited partnership's sole asset?
- (2) Can a general partner of a limited partnership dissolve the limited partnership without obtaining the approval of the limited partners? If so, what are the limited partners' rights?
- (3) Can the limited partners take each of the desired actions without losing their status as limited partners and subjecting themselves to unlimited liability?

DISCUSSION

Point One (33%)

As general partner, Able had an obligation to inform the limited partners of the offer from Historical Society.

A general partner of a limited partnership has fiduciary duties to the limited partners of the partnership similar to that which a partner of a general partnership has to the other general partners. Revised Uniform Limited Partnership Act (RULPA) § 403(b). These duties are the duty of care and the duty of loyalty. See Revised Uniform Partnership Act (RUPA) § 404(a). Able's failure to inform the limited partners of the offer from Historical Society was a violation of its fiduciary obligations as general partner. First, if the limited partners had a right under the partnership agreement to approve or disapprove the sale, the failure violated the implied right to information under the Uniform Partnership Act. (UPA § 18; RUPA § 403). Second, to the extent the offer was partnership property and Able would benefit from thwarting the sale, the withholding of information by Able violated its fiduciary duties under UPA § 21(1). In addition, Able's failure to inform the limited partners of the offer to purchase the partnership's major asset was a violation of Able's general common-law fiduciary duty. *See, e.g., Meinhard v. Salmon*, 249 N.Y. 458, 463-464, 164 N.E 545, 546 (1928). (Partners owe one another the "duty of the finest loyalty.")

Point Two (33%)

Able can dissolve the limited partnership, but such a dissolution would be wrongful. In a wrongful dissolution, the limited partners would wind up Dwight L.P. and could sell the Dwight Building to Historical Society.

A nonjudicial dissolution of a limited partnership can occur at a time specified in the limited partnership agreement, upon the happening of an event specified in the limited partnership agreement, or upon the written consent of all partners. RULPA § 801(1), (2), (3). In this case, the facts do not specify that the Dwight L P. partnership agreement provides for a time for

dissolution. It does provide that on the sale of the Dwight Building, the partnership would terminate; however, this event has not occurred nor has the unanimous consent of the limited partners to the dissolution of the Dwight L.P. been obtained. Therefore, Able cannot properly dissolve the limited partnership. The general partner can withdraw, but the limited partners have 90 days in which to decide to continue the partnership. RULPA § 801(4). Those are the only means under the statute by which a limited partnership can be dissolved as a matter of right.

In a general partnership, each partner has the ability to dissolve the partnership even if the dissolution is not as a matter of right. UPA § 31(2). Although there is no parallel provision under RULPA, that act does contemplate an effective but wrongful dissolution by a general partner. RULPA § 803 (“... the general partners who have not wrongfully dissolved ...”). Thus it appears that Able could dissolve the limited partnership but that such a dissolution would be wrongful.

If Able wrongfully dissolves the limited partnership, the limited partners would have the right to wind up the limited partnership’s affairs. “[T]he general partners who have not wrongfully dissolved a limited partnership or, if none, the limited partners, may wind up the limited partnership’s affairs. . . . RULPA § 803. The winding up of a limited partnership is no different than the process of winding up a general partnership. Winding up is generally the process of completing old business of the partnership and distributing the partnership’s assets to the partners. *Ellebracht v. Siebring*, 525 F. Supp. 1.13, 116 (W.D. Mo. 1981), *aff’d* 676 F.2d 706 (8th Cir. 1982). Part of the winding up process is the conversion of the partnership’s assets into cash for distribution to the partners. Reuschlein & Gregory, *The Law of Agency and Partnership*, 344 (2d ed. 1990). As part of the winding up of the partnership, the limited partners would have the right to sell the Dwight Building to Historical Society.

Point Three (33%)

The limited partners may dissolve the limited partnership, push for a sale to Historical Society, and remove Able as general partner without the possibility of unlimited liability. The limited partners may require their approval for all actions taken by the general partner, but, in doing so, they increase their exposure to the possibility for unlimited liability.

A limited partner who is not also a general partner can be held liable for the obligations of a limited partnership if the limited partner “participates in the control of the business.” RULPA § 303(a). However, the Act provides a safe harbor for certain types of activities that are deemed not to constitute participation in the control of the business. RULPA § 303(b). Action by the limited partners to dissolve the limited partnership (RULPA § 303(b)(6)(i)), to sell all or substantially all of the limited partnership’s assets (RULPA § 303(b)(6)(ii)), or to remove the general partner (RULPA § 303(b)(6)(v)) are all within the safe harbor and therefore those actions by themselves will not expose the limited partners to any unlimited general partner-type liability.

A decision by the limited partners to keep Able as general partner but to require their approval for every action Able takes is not within the safe harbor provisions of the statute. RULPA § 303(b). It is likely that such oversight of all of the day-to-day decision-making of a general partner in its operation of the limited partnership would constitute participation in the control of the business. RULPA § 303(a).

However, even if such oversight was deemed to constitute participation in control of the partnership, the limited partners would not be automatically liable as general partners. Reliance by a third party is required in order to impose greater liability upon a limited partner. “[I]f the limited partner participates in the control of the business, he is liable only to persons who transact business with the limited partnership reasonably believing, based upon the limited partner’s conduct, that the limited partner is a general partner.” RULPA § 303(a). Here, Bank knew of the limited partners’ status; thus, there was no reliance by Bank. If the limited

partnership were to continue its operations, it would be necessary to contract with various third parties to complete the restoration work. It would be likely that if Able was required, in each instance, to defer to the approval of the limited partners in the partnership's dealings with such third parties, they could have a reasonable belief that the limited partners were controlling the business and acting as a general partner.

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure I.A, I.B, I.E)

ANALYSIS

Legal Problems

- (1) Does the federal district court in State B have subject matter jurisdiction?
- (2) Does the federal district court in State B have personal jurisdiction?
- (3) Should venue be transferred to the federal district court of State A?

DISCUSSION

Point One (10-20%)

The federal district court has subject matter jurisdiction based upon diversity of citizenship and the required amount in controversy.

The challenge to jurisdiction raises issues as to personal jurisdiction as well as subject matter jurisdiction. Subject matter jurisdiction exists under 28 U.S.C. § 1332 if there is diversity of citizenship and the amount in controversy exceeds \$75,000. Diversity of citizenship exists between Barbara, a citizen of State B, and Adam, a State A citizen.

Barbara's claim for \$80,000 on its face satisfies the statutory amount in controversy. Adam's supporting affidavit suggests the possibility that Barbara may ultimately recover less than the statutory minimum, but that does not defeat the federal court's jurisdiction. "[T]he sum claimed by the plaintiff controls if the claim is apparently made in good faith. It must appear to a legal certainty that the claim is really for less than the jurisdictional amount to justify dismissal." *St. Paul Mercury Indemnity Co. v. Red Cab Co.*, 303 U.S. 283, 288-89 (1938). Barbara's actual recovery will depend upon factual issues and cannot be said to a legal certainty to be less than the statutory minimum.

Point Two (45-55%)

The federal district court has personal jurisdiction based upon requisite minimum contacts and the state's long-arm statute.

Determining the existence of personal jurisdiction requires analysis both of whether personal jurisdiction can be constitutionally exercised by the State B federal district court and of whether the appropriate state statute allows the federal court to assert personal jurisdiction.

The constitutional question is dependent on the classic line of cases beginning with *International Shoe Co. v. Washington*, 326 U.S. 310 (1945). *International Shoe* requires the defendant to have sufficient "minimum contacts" with State B such that requiring defense in State B would not "offend 'traditional notions of fair play and substantial justice.'" *Id.* at 3) 6, quoting *Mi Hi ken v. Meyer*, 311 U.S. 457, 463 (1940).

The sufficiency of contacts required under *International Shoe* and subsequent decisions depends on whether the court is seeking to assert general or specific jurisdiction. General jurisdiction is involved where the subject matter of the lawsuit is not related to the contacts the

defendant has with the forum state. Specific jurisdiction is involved when the lawsuit arises out of the contacts which form the basis for determining whether there are minimum contacts. Fewer contacts are required to assert specific personal jurisdiction than to assert general personal jurisdiction:

[W]here a forum seeks to assert specific jurisdiction over an out-of-state defendant who has not consented to suit there, this “fair warning” requirement is satisfied if the defendant has “purposely directed” his activities at residents of the forum, and the litigation results from alleged injuries that “arise out of or relate to” those activities.

Burger King Corp. v. Rudzewicz, 471 U.S. 462, 472 (1985)(quoting *Keeton v. Hustler Magazine, Inc.*, 465 U.S. 770, 774 (1984), *Helicopteros Nacionales de Colombia S.A. v. Hall*, 466 U.S. 408, 414 (1984)).

Were this a general jurisdiction case—for example, if Barbara were suing Adam on an unrelated personal injury claim—the contacts would clearly be insufficient. See *Helicopteros Nacionales de Colombia, S.A. v. Hall*, 466 U.S. 408 (1984).

Here, however, Barbara seeks to assert specific jurisdiction, since the cause of action arises out of Adam’s contacts (the fee-splitting contract) with State B. The contacts appear sufficient to assert personal jurisdiction. Purposeful activity was directed toward State B. Although there are factual points to the contrary, including where the contract was written, the contacts with State B are sufficient for an action arising out of such contacts. Adam initiated the contact, solicited the contract, and had further related contacts with Barbara.

Recognizing that personal jurisdiction is constitutionally permissible, the question remains whether there is statutory authority to assert that jurisdiction. Under Federal Rule of Civil Procedure 4(k)(1), Barbara must look to the law of State B to determine whether personal jurisdiction may be asserted in a diversity action. This requires interpreting State B’s long-arm statute. The statute clearly contemplates the exercise of jurisdiction in an action such as this because contracting with Barbara constitutes transacting business within the state.

Point Three (25-35%)

Venue should not be transferred to the federal district court of State A because the convenience of the parties and the convenient administration of justice would not be better served there than in the federal district court of State B.

Venue transfers are controlled by 28 U.S.C. § 1404, which provides “in the interest of justice, a district court may transfer any civil action to any other district or division where it might have been brought.” The action could have been brought in State A. The subject matter jurisdiction is the same. Adam is doing business within the state sufficient to confer personal and subject matter jurisdiction, and venue is proper since all the defendants are in State A. The question is whether the interests of justice require the transfer. It would appear not. The relative difficulty to Barbara and Adam seems the same. The evidence necessary at trial is not predominately in one jurisdiction rather than the other. There appears to be no hardship on any third party who might be a witness. The logical conclusion would be that the preference for allowing Barbara to choose the forum has not been overcome.

DECEDENTS' ESTATES ANALYSIS

(Decedents' Estates II.A, II.B, II.C, II. D, II.E, II.G)

ANALYSIS

Legal Problems

- (1) Can the 1998 will witnessed only by interested witnesses be challenged on the grounds that it was not executed with testamentary intent, it was witnessed by interested persons, or it was revoked?
- (2) Assuming that only the 1997 will is entitled to be probated, can the testator's nieces claim any share of the testator's estate on the theory that they have a claim against his estate?
- (3) Assuming that only the 1997 will is entitled to be probated, can the testator's residuary estate be distributed to the Opera Society in lieu of the Banks Foundation for Opera under the *cy pres* doctrine, or does the bequest to the foundation fail, so that the residue of the testator's estate is distributed only to his heirs?

DISCUSSION

Point One (40-60%)

Testator's 1998 purported will can be denied probate because it was not executed with the requisite testamentary intent. If evidence of a lack of intent is inadmissible such that on its face the will is valid, the 1998 document might arguably have been revoked by cancellation or by codicil, and therefore is not entitled to be probated. If not so revoked, it is entitled to be probated.

The facts indicate that Banks intended to have the 1998 document executed in such a way that it would be invalid. He did this because he wanted his property to pass to the Banks Foundation for Opera under the terms of his 1997 will without his nieces knowing this, so they would continue to take care of him. What Banks failed to appreciate was that the mere fact that a will is witnessed by beneficiaries under the will does not mean the will is invalid. In fact, in almost all jurisdictions, the validity of the will is unaffected by whether a witness is interested, although interestedness on the part of a witness may have an adverse impact on the witness's right to receive the bequest. *See generally* William M. McGovern, Jr., Sheldon F. Kurtz, & Jan Ellen Rein, *Wills, Trusts and Estates* § 4.3 (1988). Jurisdictions which have adopted the Uniform Probate Code (UPC) are even less restrictive since in those jurisdictions an interested witness does not forfeit the testamentary gift. Unif. Prob. Code § 2-505.

Although Banks's will was properly executed, it is invalid as a will if it was not executed with any testamentary intent. In the absence of testamentary intent, a document, even though executed with the statutory formalities, is invalid. *See generally* 79 Am. Jur. 2d *Wills* § 12. Testamentary intent can be established by extrinsic evidence, Unif. Prob. Code § 2-502(c), and while cases such as this—where it is the absence of intent that is at issue—are rare, presumably lack of intent can also be shown by extrinsic evidence.

The evidence in this case, that Banks executed the 1998 will without testamentary intent and to accomplish his goals used his nieces as witnesses mistakenly believing this would invalidate his will, is also reaffirmed by Banks's handwritten note on the back of the last page of the will. This note would likely constitute sufficient evidence to prove that the will was not executed with testamentary intent. On the other hand, if the note were not admissible for that purpose (e.g., in jurisdictions with a very restrictive view regarding the admissibility of extrinsic evidence), the handwritten note might be a sufficient revocation of the will by cancellation, at least in some jurisdictions.

Under § 2-507 of the Uniform Probate Code, a will can be revoked by a number of acts, including a cancellation. Under the UPC, words of cancellation need not touch any of the words of the will, but they must be somewhere on the will. Under UPC § 2-507, the note revokes the will because it was written on the will. A different result follows in jurisdictions that follow the common-law rule, requiring words of cancellation to "touch" the words of the will. *See, e.g., Thompson v Royal I*, 163 Va. 492, 175 S.E. 748 (1934) (words of cancellation ineffective because they did not come in contact with the will).

Could the 1998 will be viewed as having been revoked by a codicil? That would depend upon whether local law recognized holographic wills, whether holographic wills had to be signed, and whether Banks's initials on the envelope would meet any signing requirement, information that is not provided here.

Point Two (10-20%)

Banks's nieces probably cannot establish a claim against his estate on the basis of breach of contract to make a will, but they may be entitled to recover the reasonable value of their services to him.

Ordinarily, contracts to make a will must be in writing. *See, e.g.,* N.Y. EPTL § 13-2.1; Unif. Prob. Code § 2-514. In the absence of a writing, such contracts are unenforceable. Jurisdictions that do not expressly address this matter in their probate codes may reach the same result by applying a statute of frauds. On the facts given, Banks's agreement with his nieces was made orally. No facts suggest that it was reduced to writing. Accordingly, any claim by the nieces for breach of a contract to make a will would face the hurdle that they never put their agreement with their uncle in writing, as required by most probate codes.

On the other hand, it could be argued that there is enough written evidence of the agreement to satisfy any writing requirement even though there is no formal written contract. The 1998 will itself combined with the note on the back of that will provide some written evidence of Banks's promise to his nieces. In addition, if a local statute of frauds (rather than the probate code) creates the requirement of a writing, arguably the doctrine of part performance or estoppel may avoid the operation of that statute. *See, William M. McGovern, Jr., Sheldon F. Kurtz, & Jan Ellen Rein, Wills, Trusts and Estates* 46-59 (1988). On that basis the nieces may be able to assert against Bank's estate a claim of breach of contract to make a will.

If a jurisdiction does not require a writing to establish a contract to make a will, the nieces should be able to recover the amount of their damages, assuming the 1997 will is probated.

If the nieces' claim cannot be sustained as a contract to make a will, they may be able to recover damages in an amount equal to the reasonable value of their services or impose a constructive trust for such amount on the successor of Banks's estate. *Id.*

Point Three (30-40%)

Assuming that the 1997 will is probated and the nieces are not entitled to the whole estate, the residue of Banks's estate should be distributed to the Opera Society in lieu of the Banks Foundation by application of the *cy pres* doctrine.

The residuary bequest in favor of the Banks Foundation for Opera cannot be given effect, even if this will is probated, because the Foundation was never organized prior to Banks's death. Where a charitable bequest becomes impossible or impracticable to fulfill, a court may use the doctrine of *cy pres* to reform that gift to accomplish the testator's general charitable intent. *See generally Restatement (Second) of Trusts* § 399 (1959), *Cy pres* is appropriate unless a court determined that Banks's intent was limited only to benefiting the foundation that was never formed. This seems unlikely under the facts of the case since the purpose of the foundation was itself to benefit the Opera Society, which can just as easily be accomplished by substituting it as the residuary legatee under the will.

CONFLICT OF LAWS/FAMILY LAW ANALYSIS

(Conflict of Laws I.A, II.A, II. B, II.C, IVA, IV.E; Family Law III.B)

ANALYSIS

Legal Problems

- (1) Did the court in State X have jurisdiction to dissolve the marriage such that State Y is precluded from granting a divorce?
- (2) Did the court in State X violate due process by denying Wife spousal support?
- (3) Does the obligation of the court in State Y to give full faith and credit to the State X divorce decree preclude it from awarding spousal support to Wife?

DISCUSSION

The power of State Y to grant a divorce decree and award spousal support depends on the validity and effect of the divorce and support decree issued by State X. Under the doctrine of divisible divorce, the State X decree may be valid and effective as to the divorce, but not as to spousal support. Points One and Two concern the validity of the State X decree in these respects. Point Three addresses State Y's power to award spousal support, in the event that State X's decree is valid as to the divorce but not as to the spousal support.

Point One (30-40%)

A divorce decree dissolving a marriage is entitled to full faith and credit if the court in the rendering state had jurisdiction to enter it. A court has jurisdiction if at least one of the spouses is domiciled in the rendering state.

The in-state domicile of at least one of the parties is sufficient for a state court's jurisdiction in a divorce action. *Williams v. North Carolina*, 317 U.S. 287 (1942). A change of domicile is effected by moving to the new location with intent to remain there, regarding it as one's home. Friedenthal, Kane & Miller, *Civil Procedure* 31 (1996). Whether Husband intended to regard State X as his home is, of course, problematic, as he left State X immediately upon receiving his divorce. Arguably, at least, Husband lacked the intent required for domicile and hence for State X to exercise jurisdiction.

As the burden of proof is on the litigant who is contesting the jurisdiction, jurisdictional challenges based on lack of domicile when the durational residency requirement has been complied with rarely succeed. Nonetheless, State Y can independently examine whether State X had jurisdiction. *Williams v. North Carolina*, 325 U.S. 226 (1945) (*Williams II*). Since Husband does appear to have satisfied the durational residency requirement, most courts would hold that the court in State X did have jurisdiction to dissolve Husband and Wife's marriage and, therefore, State Y cannot issue a divorce decree. *E.g.*, *Newport v. Newport*, 219 Va. 48 (1978).

Point Two (30-40%)

A court that does not have in personam jurisdiction over a person may not constitutionally assert jurisdiction to deny that person spousal support.

In personam jurisdiction over a nonresident defendant is not needed for a court to take jurisdiction to grant a divorce terminating the marital status of a party properly before it. But personal jurisdiction is required before a court may assert jurisdiction to determine the defendant's support rights and duties. This is the doctrine of "divisible divorce." *See generally Estin v. Estin*, 334 U.S. 541 (1948); *Vanderbilt v. Vanderbilt*, 354 U.S. 416 (1957); FT. Clark, *The Law of Domestic Relations in the United States* § 12.4, at 443-56 (2d ed. 1988). Thus, a court's decree can be entitled to full faith and credit with respect to its marriage dissolution order, but not with respect to its order granting or foreclosing alimony. Whether a court can constitutionally assert in personam jurisdiction over a nonresident defendant depends on whether the nonresident defendant has or has had minimum contacts with the rendering state such that the maintenance of the support action against him or her does not offend traditional notions of fair play and substantial justice. *See Kulko v. Superior Court of California*, 436 U.S. 84 (1978).

The fact that the parties were married in State X might seem to give State X a very strong interest in all aspects of the marriage's dissolution, including the financial aspects. Since both Husband and Wife voluntarily chose to be married in State X and under the laws of State X, it might seem fair to conclude that they purposefully availed themselves of the benefits and protection of the laws of State X. But the U.S. Supreme Court in *Kulko* showed a marked reluctance to apply its minimum contacts theory to personal relations matters as broadly as it has in ordinary commercial litigation. The parties in *Kulko* were married in the rendering state, but the Court held that this contact alone was not sufficient in the context of a claim for child support. It is also unlikely that it would be sufficient in the context of a claim for spousal support or separate maintenance. That is especially the case where, as here, the marriage took place many years ago and the wife has had no significant contact with the rendering state during the intervening period. Following *Kulko*, a court would probably conclude that Wife does not have sufficient contact with State X for courts in that state to have asserted in personam jurisdiction over her. Therefore, the State X order cutting off her right to spousal support is not entitled to full faith and credit in State Y.

Point Three (30-40%)

State Y can probably award spousal support because State X granted an *ex parte* divorce in which it did not have jurisdiction to deny Wife support.

While a valid divorce decree issued by the state in which the plaintiff is domiciled can terminate the marital status of the parties, the state must have personal jurisdiction over the defendant spouse to determine spousal support. Thus, even if State X's divorce decree is accorded full faith and credit, the effect of the decree is limited to a determination of marital status unless the court had personal jurisdiction over the defendant.

Although courts typically do not have subject matter jurisdiction to award spousal support if it is not awarded at the time of the divorce, most states have statutes or case law that allows the spouse who was not subject to the in personam jurisdiction of the court granting the divorce to seek support notwithstanding the valid divorce. H. Clark, *The Law of Domestic Relations in the United States* § 12.4, at 452-53, citing cases and statutes. Some states do not provide an exception, finding that once a divorce decree entitled to full faith and credit with respect to marital status is issued, then spousal support cannot be awarded. *See, e.g., Loeb v. Loeb*, 118 Vt. 472, 114 A.2d 518 (1955). Nonetheless, regardless of the validity of the State X divorce decree, under the laws of most states, State Y could determine spousal support.

COMMERCIAL PAPER ANALYSIS

(Commercial Paper IVA, II.G, VII.B, VII.D)

ANALYSIS

Legal Problems

- (1) Did Bob's tender of payment discharge his own liability on the note to Frieda?
- (2) Did Bob's tender of payment discharge the liability of his co-maker, Cathy, on the note to Frieda?
- (3) Did Bob's tender of payment discharge the liability of Debra, an indorser, to Frieda on the note?
- (4) Did the crossing out of Aaron's name by Edward discharge Aaron's liability to Frieda on the note?

DISCUSSION

Point One (25-35%)

As an obligor on a negotiable instrument. Bob's tender of full payment at maturity did not discharge his obligation on the instrument except with respect to future interest.

Frieda, as the current holder of the note, is the party who is entitled to enforce the note. Uniform Commercial Code § 3-301. As the co-maker of the note, Bob is jointly and severally liable on the instrument. UCC §§ 3-103(a)(5) & 3-116(a). A party who is jointly and severally liable as an obligor on a negotiable instrument is responsible to the holder for the entire amount of payment. Nevertheless, if such a party is forced to pay the entire amount of the instrument, he or she will have a right of contribution against the co-obligor. UCC § 3-116(b).

When Bob made the tender of full payment on the note's due date and Frieda refused it, the refusal by Frieda served to discharge only the obligation of indorsers and accommodation parties with a right of recourse against Bob. UCC § 3-603(b). As for Bob's own liability to Frieda, her refusal of his tender served merely to discharge Bob's obligation to pay interest following the refused tender. UCC § 3-603(c). Thus, under these facts, Bob would still be liable to Frieda for the \$2,000 in principal but would not be liable for the \$100 in interest on the note that had accrued since Bob's tender was refused by Frieda.

Point Two (15-25%)

Bob's offer was not sufficient to cause Cathy's liability to be discharged when Frieda refused Bob's tender of payment.

Cathy, as co-maker on the note with Bob, was jointly and severally liable on the note. UCC §§ 3-103(a)(5) & 3-116(a). Cathy's status as co-maker gave her the potential right of contribution against Bob in the event that she ended up paying the holder of the note more than her pro-rata share of liability. UCC § 3-116(b). However, Cathy's potential right of contribution would not be sufficient to discharge her obligation to pay Frieda, the holder, when Bob, her fellow co-maker,

made a tender to Frieda that was refused. The only obligations discharged by Bob's tender would be those of an "indorser or accommodation party having a right of recourse" regarding the obligation to which the tender related. UCC § 3-603(b). Cathy's status as a co-maker fits neither of those categories. Thus, Cathy's liability as co-maker on the instrument would not be discharged as to principal.

Cathy's obligation to pay interest is less certain. Section 3-603(c) says that "[i]f tender of payment of an amount due on an instrument is made to a person entitled to enforce the instrument, the obligation of the obligor to pay interest after the due date on the amount tendered is discharged." Section 3-603(c) does not make clear in a case such as this whether "the obligor" being benefited must be the party making tender (which was the result under pre-1990 UCC § 3-604(1)) or whether instead the no-interest result applies to all obligors on the instrument. The latter interpretation of § 3-603(c) would at least discharge Cathy with respect to the \$100 in accrued interest; the former interpretation would not.

Point Three (20-30%)

As an indorser with a right of recourse against Bob. Debra's obligation on the note was discharged by Frieda's refusal of Bob's tender.

By signing on the back of the instrument as she did, Debra assumed the obligation of an indorser. UCC § 3-204(a) & (b). As an indorser, Debra had a potential right of recourse with respect to Bob, the co-maker whose tender was refused. UCC § 3-412. Accordingly, Debra benefited from the rule that completely discharges an indorser with a right of recourse where the obligor on a negotiable instrument makes a proper tender of full payment to the holder at or after maturity and payment is improperly refused. UCC § 3-603(b).

Point Four (20-30%)

Even in the absence of Bob's tender. Edward's crossing out of Aaron's signature discharged Aaron's liability as indorser on the instrument.

Under UCC § 3-604(a), Edward, as the holder of an instrument, may discharge any party's obligation on an instrument by cancellation. Cancellation would include "striking out of the party's signature," as Edward did here with respect to Aaron's signature as indorser. UCC § 3-604(a). To be effective, cancellation does not require consideration, but it must be done by someone entitled to enforce the instrument (which Edward clearly was as a holder under UCC § 3-301) and it must be intentional (which the cancellation was here since Edward did it as an act of friendship).

CORPORATIONS ANALYSIS

(Corporations IV.B)

ANALYSIS

Legal Problems

- (1) (a) Can a corporation award an executive stock options in that corporation as part of the executive's compensation?
- (b) Can a corporation issue stock options when all of the authorized shares of such corporation are issued and outstanding?
- (2) Can a corporation issue additional shares of an existing class of common stock that have greater rights and preferences than the outstanding shares of that class?
- (3) Is the consent of all common shareholders required for the issuance of preferred shares by a corporation?
- (4) Are a common shareholder's preemptive rights triggered by an award of common stock options to an executive, by the issuance of additional common stock, or by the issuance of preferred stock?

DISCUSSION

Point One (a) (15-25%)

Subject to Point One(b), PrattCo has the right to award options to its officers for purchase of shares as part of the officers' compensation.

A corporation may issue options for the purchase of its shares on terms and conditions determined by the board of directors. Revised Model Business Corporation Act (RMBCA) § 6.24. Shares may be issued, and options extended, for different types of consideration, including both "services performed" and "contracts for services to be performed." RMBCA § 6.21(b). Thus, the board could agree to give Leslie the requested options either on an "as earned" basis as Leslie completes periods of service with the company, or "up front" in consideration for a contract for future services. Therefore, the board would normally be entitled to issue the options to Leslie subject to all necessary actions to authorize sufficient shares as discussed below.

Point One (b) (15-25%)

PrattCo has issued all of its authorized shares: therefore, the stock options cannot be issued unless the board and the shareholders vote to increase the number of common shares authorized.

A corporation must have a sufficient number of authorized shares to cover all issued and outstanding shares, as well as all shares subject to options that have been issued. Articles of incorporation are required to state the number of authorized shares of the corporation. RMBCA § 2.02(a)(2). PrattCo's articles of incorporation authorize three million shares of Class A Common stock, of which all three million shares have been issued and are outstanding. This means that

PrattCo cannot issue the stock options to Leslie unless its articles are amended to provide for additional authorized shares of Class A Common stock in a number at least sufficient to meet Leslie's options.

An increase in the number of Class A Common shares authorized requires approval of both the board of directors and the Class A Common shareholders. RMBCA §§ 10.03, 10.04. Although a supermajority vote for certain changes to a corporation's articles may be specified in the articles of incorporation, RMBCA § 7.27, no supermajority requirement is found in PrattCo's articles, so a majority of the shares voted will be sufficient to approve the change. RMBCA §§ 7.25, 10.03(e)(2). Since all Class A shareholders (other than William) will vote to authorize the additional shares, PrattCo will be able to carry out its plan to issue the options and hire Leslie.

Point Two (30-40%)

Brenda's proposal to purchase Class A Common shares cannot be implemented because it provides for preferential dividend rights within an undifferentiated class of stock.

Brenda's proposal cannot be implemented because it gives Brenda's Class A Common shares preferential dividend rights beyond that given to the other Class A Common shares. All shares within a class of stock must have identical rights and preferences unless the shares within a class are divided into separate series. RMBCA § 6.02 (c); Hamilton, *Corporations*, VC.4, at 243 (1992). In addition, shares that have a preferred right to receive dividends or distributions on liquidation should not be called "common" shares. Henn and Alexander, *Laws of Corporations* § 160, at 403 (1983). See McKinney's *N.Y. Business Corporation Law* § 501(b). Since Brenda's shares would have preferred rights to receive dividends, they cannot be issued as Class A Common shares.

Point Three (20-30%)

PrattCo could create a new class of shares (Preferred Stock) and sell Brenda shares of Preferred Stock with preferential rights if the board and the shareholders approved amendments to the articles to provide for such Preferred Stock. Amendment of the articles of incorporation to create Preferred Stock requires board approval and a majority vote of the Class A Common shareholders, which, under the facts, can be obtained.

PrattCo could accomplish Brenda's objective by issuing shares of Preferred Stock instead of Class A Common shares. To do so, PrattCo would have to amend the articles of incorporation to create the Preferred Stock and designate the shares to be sold to Brenda as Preferred Stock with the preferential rights that Brenda has requested. Amendment of the articles of incorporation to create Preferred Stock requires board approval and a majority vote of the Class A Common shareholders. RMBCA §§ 10.03, 10.04. Since William holds only 30% of the Class A Common shares and all shareholders other than William will vote in favor of creating the Preferred Stock, William will not be able to block the creation and issuance of the Preferred Stock.

Point Four (10-20%)

William has preemptive rights under the articles and generally would be entitled to his proportional share of any Class A Common stock issued. However, no preemptive rights exist with respect to shares issued as compensation to officers, such as those to be issued to Leslie, and no preemptive rights exist for common shareholders with respect to preferred shares that are not convertible into common, such as the Preferred Stock that could be issued to Brenda.

The PrattCo articles of incorporation include language that “the corporation elects to have preemptive rights.” This triggers the preemptive rights provisions of the RMBCA. RMBCA § 6.30(b). Under the RMBCA and many state statutes, a corporation must “opt in” to create preemptive rights by expressly including the right in its articles of incorporation. In other states, preemptive rights are presumed to exist unless the corporation “opts out” and expressly excludes such rights in its articles. Regardless of the type of law in this jurisdiction, the statement in the PrattCo articles establishes preemptive rights for its shareholders.

However, there are several widely recognized exceptions to preemptive rights. Under the RMBCA and many state statutes, no preemptive rights exist as to “shares issued to satisfy . . . option rights created to provide compensation to . . . officers ... of the corporation. . . .” RMBCA § 6.30(b)(3)(H). Therefore, William has no preemptive right to buy any PrattCo shares as a result of the issuance of Leslie’s options.

If Brenda were to purchase Class A Common shares, the sale would not come within any of the statutory exclusions of preemptive rights, and William would have the right to purchase 30% of the Class A Common shares sold to Brenda. RMBCA § 6.30(b)(3). However, since Brenda’s shares must be issued as Preferred Stock (not Class A Common), as discussed in Point Three above, William’s preemptive rights claim can be defeated. Holders of common shares have no preemptive rights to preferential shares unless those shares are convertible to common. RMBCA § 6.30 (b)(5). So long as the Preferred Stock, which is entitled to preferential rights to dividends, is not convertible into Class A Common and carries no rights to acquire Class A Common, William would have no preemptive rights in the Preferred Stock sold to Brenda.

July 2000 MEE

► *ANALYSES*

Commercial Paper
Decedents' Estates
Federal Civil Procedure
Corporations
Family Law
Secured Transactions/Sales
Trusts & Future Interests

COMMERCIAL PAPER ANALYSIS

(Commercial Paper IVA, IV.D, VII.A, VII.D, V.J)

ANALYSIS

Legal Problems

- (1) Will Lender be able to enforce the note against Brother free of Brother's personal defense against Roofer?
- (2) Will Lender be able to enforce the note against Sister given Lender's partial release of collateral against Brother?
- (3) Will Sister have a right of reimbursement against Brother?

DISCUSSION

Point One (15-25%)

Lender can enforce the note against Brother because Lender was a holder in due course. Therefore, Lender took the note free of Brother's claim in recoupment.

As the maker and issuer of the note, Brother is obligated under Uniform Commercial Code § 3-412 to pay the instrument according to its terms to any person, such as Lender, who is entitled to enforce the instrument. UCC § 3-301 (person entitled to enforce the instrument includes the holder of the instrument). However, Brother's obligation to pay the instrument is not absolute. Sections 3-305(a)(2) and (a)(3) say that the right to enforce an obligation of a party on the instrument is subject to any defense that would be available on a simple contract as well as to claims in recoupment arising from the underlying transaction. In an action by Lender to enforce the note, Brother could raise a claim in recoupment based on Roofer's poor roofing job.

The rules of § 3-305(a), however, are specifically made subject to § 3-305(b), which says that a holder in due course is not subject to the contract defenses described in § 3-305(a)(2). Lender should qualify as a holder in due course under § 3-302(a)(2) since it took the instrument for value, in good faith, and without notice of any claims to the instrument. Therefore, Lender should take free of Brother's claim in recoupment and should be able to enforce the note in full against Brother.

Point Two (55-65%)

Lender's ability to recover on the note from Sister is reduced by \$2,000, the extent to which Lender impaired Sister's right of recourse by releasing its collateral interest in one of Brother's computers.

Because Sister received no direct benefit for signing the note, Sister is an accommodation party on the note. UCC § 3-419(a). Even though Sister is an accommodation party, she is still liable in the capacity that she signed, here as an indorser. UCC § 3-419(b). Sister's obligation to pay the instrument as an indorser is not affected by her accommodation status except to the extent of the special provisions regarding accommodation party discharges contained in § 3-605. UCC § 3-419(c). As an indorser, Sister is obligated to pay the amount due to Lender, if Brother, as maker,

were to dishonor the note and proper notice of dishonor were given to Sister. UCC §§ 3-415(a) & (c); § 3-503(a).

However, if a person entitled to enforce the instrument impairs the value of the collateral that secures the instrument's obligation, then an accommodation party having a right of recourse against the obligor is discharged to the extent of the impairment. UCC § 3-605(e). In this case, Lender impaired the value of the collateral securing the instrument through its binding release of rights to one of Brother's three computers that secured Brother's obligation under the instrument. UCC § 3-605(g)(ii). Because Lender impaired the value of the collateral by \$2,000, Lender's own rights to recover against Sister (which would have been \$8,000) are reduced to \$6,000. UCC § 3-605(e).

Even though Lender is a holder in due course, Sister's partial discharge will still be effective against Lender. Since Sister's signature appeared on the back side of the note, her signature was an "anomalous indorsement" that gave notice to Lender and to any other later party that she was signing as an accommodation party. UCC § 3-419(c). Even putting aside Sister's anomalous indorsement, Lender knew that Sister was an indorser and therefore knew that Sister was a party with a right of recourse against Brother. UCC § 3-412 ("The obligation [of the issuer of a note] is owed to . . . an indorser who paid the instrument under Section 3-415") Although personal discharges such as Sister's here are not effective against holders in due course without notice of the discharge, UCC § 3-601(b), here the holder in due course had notice of Sister's right of discharge and in fact caused the partial discharge. *Cf.* UCC § 3-302(b) ("discharge is effective against a person who became a holder in due course with notice of the discharge").

For the same reason that Brother's obligation to Lender is not reduced, Sister's obligation to Lender is not reduced because of the shoddy roof job.

Point Three (15-25%)

Sister will have a right of reimbursement against Brother for the full amount that she pays Lender on the note.

Sister would have two different theories for recovering from Brother for any amount that Sister had to pay on the note to Lender. First, Sister signed in the capacity of an indorser. By that fact alone Sister has a right of recourse against Brother, the issuer of the note, if Sister has to pay a later holder of the note. UCC § 3-412. Second, if Sister had not signed as an indorser, she would nevertheless have a right of reimbursement against Brother because of her independent status as an accommodation party under UCC § 3-419(a). UCC § 3-419(e) ("An accommodation party who pays the instrument is entitled to reimbursement from the accommodated party and is entitled to enforce the instrument against the accommodated party.")

DECEDENTS' ESTATES ANALYSIS

(Decedents' Estates II.F, II.G, II.I)

ANALYSIS

Legal Problems

- (1) (a) Is the March 2 will entitled to be probated because it was revived when Testator's September 10 will was revoked?
 - (b) Assuming the March 2 will is entitled to be probated, should \$10,000 be distributed to Charity Y or was the bequest to Charity Y satisfied before Testator died by Testator's gift to the charity of \$15,000 on February 1, 1990?
 - (c) Assuming the March 2 will is entitled to be probated, did Cory timely disclaim his interest in the \$50,000 bequest and, if so, does the bequest pass to Gary or to the residuary legatees under Testator's will?
- (2) If the March 2 will was not revived, can the September 10 will be probated under the doctrine of dependent relative revocation and, if so, how will the estate be distributed?

DISCUSSION

Point One (a) (30-40%)

The March 2 will can be probated if State A permits a will that has been revoked by the execution of a later will to be revived if the later will is revoked. If the March 2, will, is revived, Andy and Billy take the residue but how the general bequests are distributed depends on the resolution of two separate issues.

The execution of the September 10 will revoked the March 2 will under the laws of all states. Under the common law, however, the later revocation of the second will revives the first will. This rule followed from the principle that wills only speak at the time of death and, since the second will was revoked and therefore is a nullity, only the prior will had legal effect. Because of the belief that the common-law rule frustrated the intent of testators who revoked the later will with the intent of dying intestate, many states adopted statutes rejecting the common-law revival rule. These statutes can take at least two forms. One is that the revocation of the second will does not revive the earlier will. *See, e.g.,* Iowa Code § 633.284. The other form, as exemplified by the Uniform Probate Code § 2-509(a), is that the revocation of the second will does not revive the earlier will unless "it is evident from the circumstances of the revocation of the subsequent will or from the testator's contemporary or subsequent declarations that the testator intended the previous will to take effect as executed."

A will may be revoked by a cancellation. *See generally* Unif. Prob. Code § 2-507. When revoking the September 10 will by cancellation, the result of writing "VOID" across the face of the will, Testator explicitly indicated that he preferred his March 2 will. This statement is evidence of his intent to revive the earlier will. Thus, either under the common-law revival rule or a statutory substitute incorporating an intent standard, the March 2 will is entitled to be

probated. Only if State A has an absolute no-revival rule would the March 2 will not be entitled to be probated.

Point One (b) (10-20%)

If the March 2 will is probated, then \$10,000 should be distributed to Charity Y. Testator's lifetime gift to Charity Y is not a gift in satisfaction of this general bequest.

Under the common law, if, subsequent to the execution of a will, a testator gives property to a person who is named as a general legatee in a will executed by the testator prior to the making of the gift, a rebuttable presumption arises that the testator intended the gift to be in satisfaction of the general legacy. This is known as the doctrine of "satisfaction" or "ademption by satisfaction" *See generally* W. McGovern, S. Kurtz & J. Rein, *Wills, Trusts and Estates* 30 (1988). The common-law rule is often abrogated or modified by statute. For example, under the Uniform Probate Code § 2-609(a)(ii), a gift to a legatee is not in satisfaction of the legacy unless the testator declared in a contemporaneous writing that he/she intended the gift to be in satisfaction of the bequest. In other states, the gift is not in satisfaction absent some writing evidencing testator's intent that the gift be in satisfaction of the bequest.

However, the ultimate result in this case is arguably the same whichever version of the doctrine applies because it appears Testator did not intend the \$15,000 gift to be taken into account in determining the amount distributable to Charity Y under the will. This is evident from the language in the document found with the check that the \$15,000 was one of many gifts and that Testator hoped to be in a position to make future gifts to Charity Y because the charity's work was so important to him. While it might be argued that the mere fact that Testator kept the check and note with his will evidences an intent that the gift of \$15,000 be in satisfaction of the bequest, that argument seems weak in light of the more specific language on the note evidencing Testator's intent to continue making gifts to the charity.

Point One (c) (10-20%)

If the March 2 will is entitled to be probated Cory timely disclaimed his interest in the \$50,000 bequest. The bequest should pass to his child, Gary.

The typical disclaimer statute provides that a disclaimer must be made within nine months of the testator's death. The nine-month period is typical because state disclaimer statutes are designed to comport with the federal disclaimer rules. *See generally* Int. Rev. Code § 2518(2). Since Cory disclaimed on October 30, 1998, Cory's disclaimer was made within nine months of Testator's death and therefore was timely.

The typical disclaimer statute further provides that if a timely disclaimer is made, the disclaimed property interest passes as if the disclaimant died before the testator. *See, e.g.*, Unif. Prob. Code § 2-801(d)(1). In this case, the disclaimed property interest would pass in accordance with any applicable lapse statute to Cory's child, Gary. The lapse statute applies because (1) Cory is a descendant of Testator (a typical requirement of a lapse statute), (2) Cory has issue who survive Testator (another typical requirement of a lapse statute), and (3) Testator's will did not specially condition Cory's bequest on Cory surviving Testator. *See generally* J. Ritchie, N. Alford, R. Effland & J. Dobris, *Decedent's Estates and Trusts* 1021 (8th ed. 1993); *cf.* Unif. Prob. Code § 2-603 (applying the lapse statute, in some cases, even if the bequest is expressly conditioned on survivorship).

Point Two (35-45%)

If the March 2 will was not revived, then the September 10 will is entitled to be probated under the doctrine of dependent relative revocation (DRR) if it is established that Testator would have preferred the disposition in the September 10 will to intestacy. Otherwise, Testator died intestate.

The March 2 will was revoked by the execution of the September 10 will regardless of whether the latter will was revoked. *See generally* Unif. Prob. Code § 2-507(a)(1). If the March 2 will is not revived, either the revocation of the September 10 will is ignored under DRR or Testator died intestate. Most likely Testator died intestate.

If a valid will is revoked by a physical act (such as cancellation) under Testator's mistaken belief that in doing so Testator could revive an earlier will, the revocation of the will can be ignored under DRR. Because DRR is an intent-effectuating doctrine, it applies only when the court determines that the testator would prefer the disposition in the revoked will to that resulting from a determination that the testator died intestate. *See generally Estate of Alburn* 18 Wis.2d 340, 118 N.W.2d 919 (1963). Courts are more likely to apply DRR if the distribution of the estate using DRR approximates more closely the distribution testator actually intended than the distribution that would occur if DRR did not apply. When that is not the case, courts are more likely to reject using DRR.

For example, if the intended revocation of the September 10 will is ignored using DRR and, thus, that will is entitled to probate, Testator's entire \$100,000 estate would be distributed equally to Andy and Billy. Cory, on the other hand, would take nothing. Alternatively, if the September 10 will is revoked and DRR is not applied, Testator would be deemed to have died intestate and Testator's entire estate would be distributed in equal thirds to Andy, Billy, and to Cory, since Cory's disclaimer did not apply to any intestate share.

It would appear that a distribution of \$33,000, \$33,000, and \$33,000 to Andy, Billy, and Cory (ignoring DRR and using intestacy) approximates more closely what Testator actually intended—\$50,000 to Cory, \$10,000 to Charity Y, \$20,000 to Andy and \$20,000 to Billy, which was the distribution under the March 2 will—than a distribution of \$50,000 to Andy and \$50,000 to Billy (applying DRR and distributing the estate under the September 10 will). Here, Cory gets less than intended but at least something, while Andy and Billy get somewhat more than Testator intended. Thus, not applying DRR arguably more closely approximates Testator's intent. Of course, this is a close question, and examinees could argue either way.

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure IV.F, VA, VI C)

ANALYSIS

Legal Problems

- (1) Does the district court have the power to issue a pretrial order that dictates the order in which issues will be tried to a jury?
- (2) Was the court justified procedurally in granting the motion for judgment as a matter of law before the close of evidence?
- (3) Was the court justified substantively in granting the motion for judgment as a matter of law?

DISCUSSION

Point One (25-35%)

Under Rule 16, the district court has the power to enter a pretrial order that specifies the order in which issues will be tried.

Rule 16 of the Federal Rules of Civil Procedure gives district court judges the power to structure trials in a manner that facilitates their expedited disposition. In particular, Rule 16(c) empowers courts to take action to simplify potentially difficult or complex litigation. Rule 16(c)(14) specifically authorizes courts to direct the parties “to present evidence early in the trial with respect to a manageable issue that could, on the evidence, be the basis for a judgment as a matter of law under Rule 50(a).” This language offers ample support for the court’s decision to require Claimant to present evidence of Fiberco exposure early to facilitate a motion for judgment as a matter of law.

Point Two (25-35%)

A motion for judgment as a matter of law may be granted before the close of evidence if the opposing party has been fully heard on the dispositive issue.

Rule 50 simplifies and clarifies federal practice on what were once called motions for directed verdicts, bringing the practice into line with that on motions for summary judgment. In brief, Rule 50 permits a party like Fiberco to move for judgment as a matter of law at any time during the course of a jury trial if the opposing party “has been fully heard” on an issue. Fed. R. Civ. P. 50(a)(1). Thus, Claimant’s indication that the testimony of BrakeCo’s manager concluded his proof on the issue of exposure to Fiberco asbestos suggests that the motion for judgment as a matter of law was procedurally proper at the time it was made. Fiberco was not required to await submission of Claimant’s entire case to make a procedurally proper motion for judgment as a matter of law, and the trial court is not obliged to wait before ruling on it.

Point Three (25-35%)

A motion for judgment as a matter of law is properly granted when it is clear that there is no legally sufficient basis for a verdict in favor of the nonmoving party.

It also appears that the court correctly resolved the motion in Fiberco's favor. Rule 50 specifies the standard for the grant of a motion for judgment as a matter of law, indicating that such motions may be granted whenever "there is no legally sufficient evidentiary basis for a reasonable jury to find for" the nonmoving party. Fed. R. Civ. P. 50(a)(1). In this case, the problem specifies that the relevant jurisdiction has rejected the so-called market share theory of liability and places the burden on the plaintiff to produce specific evidence establishing exposure to the defendant's asbestos product. While the manager's testimony places Fiberco products in the firm's storeroom, it does not establish that the products were there at the time Wife worked at the firm. One can argue that the presence of Fiberco products at one point in time provides evidentiary support for an inference that they were there on other occasions as well. However, the manager appears to negate that inference with the admission that he had never seen the Fiberco products in the storeroom until after Wife's employment had ended. Claimant might have attempted to bolster his case with other evidence of Fiberco exposure, either through company records or other testimony. In failing to do so, Claimant appears to have failed to provide evidence sufficient to support a rational jury verdict in his favor on the issue of Fiberco exposure.

CORPORATIONS ANALYSIS

(Corporations VII)

ANALYSIS

Legal Problems

- (1) Are restrictions on a shareholder's ability to transfer stock of a close corporation that require the consent of all other shareholders to the transfer and the transferee enforceable against a transferring shareholder?
- (2) Are restrictions on a shareholder's ability to transfer stock of a close corporation that require the consent of all other shareholders to the transfer and the transferee enforceable against a third party that lacks notice?
- (3) Will a court order the dissolution of Store to protect the minority shareholders?

DISCUSSION

Point One (35-45%)

Restrictions on the transfer of stock that require approval of the transfer and transferee by all other shareholders are generally enforceable as long as the restrictions are created for reasonable purposes.

As a general rule, share transfer restrictions are invalid if they are unreasonable restraints on alienation of stock. Thus, an absolute restraint on alienation of stock is *per se* unreasonable and void. Usually, however, courts will permit share transfer restrictions if they are adopted for a lawful purpose. Lawful purposes include keeping a corporation closely held or keeping a corporation in the family. H. Henn & J. Alexander, *Laws of Corporations* § 281, at 756-58 (3d ed. 1983).

The share transfer restriction described in the facts requires the consent of all other shareholders and the approval by such shareholders of the proposed transferee. Consent restraints, such as this one, are among the most restrictive stock transfer restraints because they make stock unassignable if one shareholder refuses to vote to approve the transfer. The courts are split on the enforceability of consent restrictions. Some jurisdictions have considered such a restriction to be tantamount to an absolute restraint on alienation, manifestly unreasonable and void. *See Hill v. Warner, Berman & Spitz P.A.*, 197 N.J. Super. 152, 484 A.2d 344 (1984); *Rafe v. Hindin*, 29 A.D.2d 481, 288 N.Y.S.2d 662 (Sup. Ct. N.Y. 1968), *aff'd*, 23 N.Y.2d 759, 296 N.Y.S.2d 955 (1968). Other jurisdictions, however, have enforced transfer restrictions of this type. *See Gray v. Harris Land & Cattle Co.*, 227 Mont. 51, 737 P.2d 475 (1987); *Benson v. RMJ Securities Corp.* 683 F. Supp. 359 (SDNY 1988); Henn & Alexander, *Laws of Corporations* at 759; Del. Gen. Corp. Law § 202(c)(3). Modern statutory law frequently permits many types of restrictions on the transfer of stock. The Revised Model Business Corporation Act (RMBCA) permits restrictions established in a corporation's "articles of incorporation, bylaws, an agreement among shareholders, or an agreement between shareholders and the corporation." RMBCA § 6.27(a). "A restriction on the transfer or registration of transfer of shares is authorized for any . . . reasonable purpose." RMBCA § 6.27(c)(3). The RMBCA also provides that a stock

transfer restriction may “require the corporation, the holders of any class of its shares, or another person to approve the transfer of the restricted shares, if the requirement is not manifestly unreasonable.” RMBCA § 6.27(d)(3).

An initial determination must be made as to whether the restriction on transfer is reasonable and therefore enforceable against Dave, a shareholder. Arguably, it is not manifestly unreasonable to allow family members to approve new shareholders so they can keep control in the family or in people acceptable to the family. Therefore, the restriction would be enforceable against Dave. Alternatively, it could be argued that the restriction would not be enforceable because the restriction might unreasonably result in the current shareholders never having the right to transfer their shares in Store.

Point Two (10-15%)

Restrictions on the transfer of stock would be enforceable against Bank if it had actual knowledge of the restrictions and would not be enforceable against Bank if it did not.

Assuming that the share transfer restriction is enforceable against Dave, it must be determined whether the restriction is binding on Bank. Both the RM BCA and the Uniform Commercial Code (UCC) address the issue of whether the share transfer restrictions are binding on third parties to whom restricted stock is conveyed. The RMBCA states:

A restriction on the transfer or registration of shares is valid and enforceable against the holder or a transferee of the holder if the restriction is authorized by this section and its existence is noted conspicuously on the front or back of the certificate. . . . Unless so noted, a restriction is not enforceable against a person without knowledge of the restriction. RMBCA § 6.27(b).

Section 8-204(1) of the UCC similarly provides that a stock transfer restriction is invalid unless the restriction is noted conspicuously on the stock certificate.

The facts state that Store’s Articles of Incorporation provide for the share transfer restrictions. Therefore, the restriction is “authorized” as required by the RMBCA. RMBCA § 6.27(a)(b). However, the facts do not indicate whether the transfer restriction is conspicuously noted on the stock certificates. Therefore, it is not clear whether Bank knew of the share transfer restriction on the Store stock that Dave had pledged to the Bank. If the restriction is conspicuously noted on the certificates, the restriction is valid and enforceable against Bank. If it is not conspicuously noted, the restriction is enforceable only if Bank had actual notice of it through other means. Because the facts are silent as to whether Bank had knowledge of the restriction, it cannot be determined whether the restrictions are enforceable against Bank.

Point Three (45-55%)

A court is likely to order the dissolution of Store in order to protect the minority shareholders from oppressive conduct by the majority.

In this case, the directors and controlling shareholders may have embarked upon a plan to freeze out Dave, the minority shareholder. The plan appears to have two elements: to deprive Dave of a voice in management and to eliminate shareholder dividends while increasing salaries to the majority shareholders and the directors.

The RMBCA permits courts to intervene in the affairs of closely held corporations under limited circumstances. A court may dissolve a corporation “in a proceeding by a shareholder if it

is established that... the directors or those in control of the corporation have acted, are acting, or will act in a manner that is illegal, oppressive or fraudulent.” RMBCA § 14.30(2)(ii).

The issue here is whether the conduct of Anne, Bob, and Clyde, the majority shareholders, is “illegal, oppressive or fraudulent.” Shareholder dividends were eliminated while directors’ and employees’ compensation was dramatically increased, and the minority shareholder was given no voice in management. It appears that the directors and controlling shareholders are attempting to pay to themselves what had formerly been regarded as corporate profits.

The majority shareholders will argue that they have a right to accumulate profits, that dividends are usually discretionary and within the business judgment of the board of directors, and that their actions had a legitimate business purpose. Henn & Alexander, *supra*, § 327, at 913-14. Nonetheless, the combination of eliminating dividends while substantially increasing the compensation of majority shareholders in their capacities as directors and employees of the corporation raises the issue of whether the minority shareholders have been oppressed.

The standard for oppressive conduct is not clearly established. Some courts define oppression as violating the reasonable expectations of shareholders, “One of the most significant trends in the law of close corporations in recent years is the increasing willingness of courts to look to the reasonable expectations of shareholders to determine whether ‘oppression’ or similar grounds exist as a justification for involuntary dissolution or another remedy.” F. Hodge O’Neal & Robert Thompson, *Close Corporations* § 9.30, at 9-141 (1988).

Many courts have taken an alternative approach, finding that in closely held corporations, controlling shareholders have a higher fiduciary duty to minority shareholders than in publicly held corporations. *See Nelson v. Martin and Gammon*, 1996 Tenn. App. Lexis 63; Henn & Alexander, *supra*, § 268, at 735. Under such a view, majority shareholders “are required to deal fairly, honestly and openly with minority shareholders and may not use their corporate control to prevent the minority from having an equal opportunity in the corporation.” *Nelson v. Martin and Gammon*, 1996 Tenn. App. Lexis 63, citing *W&W Equipment Co., Inc. v. Mink*, 568 N.E. 2d 564, 570 (Ind. Ct. App. 1991). In addition, some courts have held directors in a closely held corporation to higher fiduciary duties than those of directors in public corporations. Henn & Alexander, *supra*, § 276, at 747.

Whether the standard is reasonable expectations of shareholders or the duty of good faith and loyalty from majority to minority shareholders, it is clear that attempts to freeze out minority shareholders are oppressive if the majority shareholders profit from the corporation to the detriment of minority shareholders. If what is properly a dividend is converted to salary for majority shareholders, the expectations of the minority shareholders have been frustrated and the obligations of the majority shareholders have been breached, thereby justifying judicial dissolution.

The RMBCA provides that if a proceeding is started to dissolve a corporation, the corporation may terminate the action if it, or a shareholder, purchases the complaining shareholder’s shares for fair value. RMBCA § 14.34(a).

Thus, Dave, the minority shareholder, is likely to get a court-ordered dissolution of Store. The corporation or any of its shareholders may choose to purchase Dave’s stock to stop the proceeding.

FAMILY LAW ANALYSIS

(Family Law VI.A, VI.E)

ANALYSIS

Legal Problems

- (1) Can the child consent to surgery or is parental consent required?
- (2) Can a court order an operation over the objection of the parents, even when the parents' objections are based on their religious beliefs?
- (3) Must the child obey the parents' commands about the child's religious education?

DISCUSSION

Point One (25-35%)

Parental consent is required for Fred's surgery because his situation does not fit any of the usual exceptions to the general rule that the parent, not the child decides what medical care the child should receive.

A doctor who performs surgery on a minor child without the parents' consent is liable in tort. Homer Clark, *The Law of Domestic Relations in the United States* § 9.3 (2d ed. 1988). There are exceptions to this general rule, but none applies here. For example, consent is not necessary in emergency cases when there is no time to obtain parental consent. And, by statute, most states do not require parental consent for particular types of medical care, usually related to public health concerns, such as treatment for venereal disease (although sometimes even these statutes exempt children whose parents object to treatment on religious grounds). Some states, by statute or case law, make an exception to the parental consent requirement for older children, either specifying an age or indicating that the minor must be mature. Typically, however, the "mature minor" must be near the age of majority, and the medical procedure must not be major. Leslie Harris, Lee Teitelbaum, & Carol Weisbrod *Family Law* 985 (1996). Since none of these exceptions fits these facts, Fred's consent is not sufficient and parental consent is necessary.

Point Two (35-45%)

Although a court can order medical treatment for the child over the objections of the parents when the medical treatment is urgently needed to prevent serious harm to the child's health, even when the parents' objections are based on their religious beliefs, the court would probably not do so here.

Under the *parens patriae* authority of the state, the state can intervene to protect children when parents deny them needed medical care. The child labor case, *Prince v. Massachusetts*, 321 U.S. 158 (1944), is often cited to support the state's right to protect children. "Parents may be free to become martyrs themselves. But it does not follow they are free ... to make martyrs of their children." *Id.* at 170. Generally, if a parent fails to provide needed medical care, a child can be adjudicated neglected and the state can order the medical treatment. In addition, many states have exemptions to the abuse and neglect statutes that allow the state to order the medical care

without a finding of parental fault if the parents object to the child's treatment on religious grounds. Homer Clark, *The Law of Domestic Relations in the United States* § 9.3 (2d ed. 1988).

When parents object to the medical care, however, the concept of "need" is interpreted narrowly. Here, no strong facts are presented that the care is "needed," because Fred does not face imminent death or serious injury. The medical condition is not life threatening and can be postponed until Fred is an adult. In these medical treatment cases, the courts weigh the risks and benefits of treatment. The strongest facts for ordering the operation are that Fred will suffer some physical damage and is suffering psychological harm that is having a negative impact on his school performance. In addition, Fred wants the surgery. On the other hand, the state has a strong respect for parents' autonomy, the parents are concerned about the risks inherent in the surgery, and the parents' religious beliefs are a major basis for their objection. On balance, a court would probably not order that Fred's surgery proceed. Nonetheless, even where the child is not in imminent danger, some courts will order medical treatment, notwithstanding the parents' religious objections. Leslie Harris, Lee Teitelbaum, & Carol Weisbrod, *Family Law* 982 (1996).

Point Three (20-30%)

The right of parents to direct the upbringing of their child includes control over the child's religious education, and children have a duty to obey their parents.

Parents generally have a right to raise their children as they see fit. *Wisconsin v. Yoder*, 406 U.S. 205 (1972) (compulsory education case). A child who fails to follow parental commands is disobedient, and the state seeks to reinforce the parents' control over their child, not undermine it. Leslie Harris, Lee Teitelbaum, & Carol Weisbrod, *Family Law* 1484-85 (1996). The state would have authority to intervene only if the parents' commands were so extreme as to constitute abuse or neglect. Here, the requirement that Fred attend religious services once per week and follow his parents' religion is not likely to rise to that level. Thus, Fred must obey his parents' instructions with respect to religious services.

SECURED TRANSACTIONS/SALES ANALYSIS

(Secured Transactions IV.J, V.A; Sales IV.E, V.B)

ANALYSIS

Legal Problems

- (1) Who has the superior claim to personal property, a previous owner from whom the property was stolen or a good faith purchaser for value?
- (2) May a secured party with a security interest in accounts and/or chattel paper require the obligors on the accounts to pay it directly upon the default of the debtor on the secured obligation?
- (3) May an account debtor raise defenses arising out of the underlying sales contract against the obligee of the account or assignees?

DISCUSSION

Point One (30-40%)

An owner of stolen property may recover that property from a subsequent purchaser without reimbursing the purchaser and regardless of the purchaser's good faith in the transaction in which the purchaser acquired the property.

Section 2-403 of the Uniform Commercial Code adopts the common-law principle of *nemo dat*: no one can give or sell what he does not have. Thus, under Article 2, a purchaser of goods acquires only that title "which his transferor had or had power to transfer."

On the facts of this problem, the cedar chest was stolen from Owner. The thief who stole it had no title and no power to transfer title. Any purchaser from the thief would therefore acquire no title. Subsequent purchasers would likewise acquire only such title as their transferors had, i.e., no title.

There are exceptions to the *nemo dat* rule. In particular, good faith purchasers for value are sometimes able to acquire good title even if their transferors had no title or defective title. *See, e.g.* UCC § 2-403(1), (2). However, the facts of this problem do not raise even a possibility of applying any of the recognized protections for good faith purchasers. In particular, the protection granted to buyers in the ordinary course from merchants who deal in goods of the kind purchased (e.g., the antique dealer in this problem) applies only if the goods were entrusted to the merchant by the true owner. Nothing of the sort happened in this problem.

Consequently, Owner will prevail in the replevin action, and Purchaser will be forced to give up the cedar chest with no reimbursement from Owner for payments already made to Dealer. Purchaser's remedy is against Dealer.

Point Two (30-40%)

After default by the principal debtor, a secured party with a security interest in accounts or chattel paper is entitled to collect payments directly from the account debtors.

The obligation owed by Purchaser to Dealer under the installment sales contract is either an account or chattel paper (if the installment sales contract includes a provision creating a security interest in favor of Dealer). In either case, Uniform Commercial Code § 9-502 permits a secured party to “notify an account debtor ... to make payment” when the account creditor (Dealer) is in default on the secured obligation. The purpose is to permit a party whose financing is secured by accounts or chattel paper to “liquidate by collecting whatever may become due on the collateral.” UCC § 9-502, cmt. 1. The account debtor must, after notification from the secured party, make payments directly to the secured party rather than to the defaulting debtor, at least insofar as there is no question about the legitimacy of the secured party’s claim. *See* UCC § 9-318(3) (after notice of assignment of an account and that payment is to be made to assignee, account debtor must pay assignee, subject to account debtor’s right to demand proof of the assignment). *See generally* James J. White & Robert S. Summers, *Handbook on the Uniform Commercial Code—Practitioners’ Edition* § 3 4-5 (a) (4th ed. 1995).

Dealer’s statements to Purchaser did not deny that Bank had a security interest or that Dealer was in default. Dealer simply denied that Bank had collection rights. Article 9, however, clearly grants Bank such rights in the event of Dealer’s default, even if the security agreement does not give Bank collection rights. UCC § 9-502(1). Consequently, Purchaser should make payments to Bank and not to Dealer.

Point Three (30-40%)

Purchaser has a breach of warranty claim against Dealer. This claim may be asserted against either Dealer or Bank as a defense to payment on the installment sales contract. Thus, Purchaser is not liable for payments to either Dealer or Bank.

As the facts make clear, Dealer had no title to the cedar chest that was sold to Purchaser. Under § 2-312 of the Uniform Commercial Code, every seller of goods makes a warranty of good title to the buyer, unless that warranty is “excluded or modified only by specific language or by circumstances” that put the buyer on notice that the seller claims no title. Nothing in these facts indicates any exclusion or modification of the warranty of good title.

Purchaser’s remedies in the case of breach of warranty of good title for accepted goods include revocation of acceptance and include recovery for “the loss resulting in the ordinary course of events from the seller’s breach.” UCC § 2-714(1). In this case, of course, Purchaser has lost the cedar chest and its full value. This loss is an ample defense to any attempt on the part of Dealer to recover further payments on the installment sales contract. This argument can also be effectively couched in terms of failure of consideration, with the same result.

Bank’s efforts to collect on the installment sales contract are also subject to Purchaser’s claim against Dealer for losses due to Dealer’s breach of the warranty of title. Section 9-318 of the Code provides that any assignee of accounts or chattel paper is subject to “any defense or claim arising” out of the contract between the account debtor and the assignor unless the account debtor has agreed not to assert defenses. On our facts, no such agreement is indicated. An assignee-secured creditor exercising collection rights under UCC § 9-502 is subject to the account debtor’s defenses under § 9-318, just as any other assignee would be subject to those defenses. *See* James J. White & Robert S. Summers, *supra*, at § 34-5(b). Accordingly, Purchaser has no obligation to pay Bank.

TRUSTS & FUTURE INTERESTS ANALYSIS

(Trusts & Future Interests III)

ANALYSIS

Legal Problems

- (1) Does the trust violate the common-law Rule Against Perpetuities?
- (2) (a) Are Cousin's children Adam (who was alive when Grantor created the trust), Ellen (born after Grantor's death), and Doris (a minor adopted child) included in the class gift of a remainder interest in the trust?
 - (b) When, if at all, will Cousin's children be entitled to receive their shares?

DISCUSSION

Point One (10-15%)

The trust does not violate the common-law Rule Against Perpetuities.

The trust does not violate the Rule Against Perpetuities. Since the trust was revocable, the period of the rule begins to run from Grantor's death, not the date the inter vivos trust was created. At Grantor's death, Cousin was a life in being, and the non-vested interest created in Cousin's children vests or fails to vest no later than 21 years after Cousin dies. Thus, the non-vested interest vests within the permissible perpetuity period of lives in being plus 21 years. Brother's interest does not violate the Rule because the interest vests immediately at Grantor's death.

In some states, the common-law Rule Against Perpetuities has been repealed by statute. In such states, all interests in the trust would be valid.

Point Two (a) (40-50%)

Cousin's children Adam (who was alive at the time the trust was created) and Ellen (who was born after Grantor's death) are members of the class of "Cousin's children" and have remainder interests in the trust. Cousin's adopted child, Doris, also likely qualifies as a member of the class.

Grantor created a class gift in a contingent remainder when she created an interest in "Cousin's children who attain age 21." A class gift is a gift to a group of people collectively described, typically by reference to their relationship to a common ancestor, rather than a gift to named individuals. A class gift by its nature is capable of passing to multiple takers. The nature of a class gift is that the class membership, i.e., persons who may share in the gift, may fluctuate over time. Thomas F. Bergin & Paul G. Haskell, *Preface to Estates in Land and Future Interests* 136-37 (2d ed. 1984). At issue is the identity of the members of the class. This class consists of all of Cousin's children who join the class before it closes. However, only those class members who reach age 21 are entitled to a share of the property. See Point Two(b).

Cousin's child, Adam, who was alive at the time Grantor created the trust, is included in the gift of the remainder interest in the trust as of the time the gift was created. However, because the gift is a future interest, not an immediate gift, the class gift remains open until Brother's death, when the class closes. As long as the class remains open, new members may join the class.

Therefore, since Cousin's other biological child, Ellen, was born prior to Brother's death and while the class was open, she is also a class member. *Bergin & Haskell, supra*, at 145.

The more difficult question is whether Doris, who is Cousin's adopted child, also is included in the class. While adopted children generally inherit from their adoptive parents, under the "stranger to the adoption" rule they were, until very recently, excluded from class gifts created by someone who did not know of the adoption and was not the adopting parent. *Id.* at 233-234.

Today, however, in many states, adopted children are more likely than they were in the past to be included in class gifts created by persons other than their parents. However, states differ in the criteria used for their inclusion in a class gift. For example, in states that follow the Uniform Probate Code, adopted children qualify as part of a class of "children" only if they "lived while a minor as a regular member of the household" of the named parent, unless the governing instrument indicates a contrary intent. UPC § 2-705 (and official comment). Under the UPC, Doris is likely to be included because she is under 21 and lives in Cousin's household.

In non-UPC states that have rejected the "stranger to the adoption" rule, an adopted child is included in a class gift created by someone other than the adopting parent on the theory that such child has been brought into the family of the adopting parent for all purposes and that society no longer distinguishes between adopted and biological children. In such states, adopted children are included in a class gift unless the governing instrument provides otherwise. *See generally* William M. McGovern, Jr., Sheldon F. Kurtz, & Jan Ellen Rein, *Wills, Trusts, and Estates* 46-59 (1988). In light of these modern reforms, it is most likely that Doris, Cousin's adopted child, will be included in the class gift since she was adopted before the class closed.

Depending on which of Cousin's children, as a group, qualify for an interest in the trust, those children, as earlier noted, acquired a contingent remainder in the trust. Two contingencies existed: (1) being born or adopted (becoming a child of Cousin) before the class closes and (2) attaining the age of 21. Once a child of Cousin reaches 21, that child's interest becomes vested, subject to open, i.e., subject to partial divestment by other children of Cousin. Once vested, the child is assured of obtaining a share of the trust principal because no other contingencies are stated, such as survival to any particular time, including the time for distribution. As more children attain the age of 21, the share of each becomes smaller because all the children in the class when it finally closes will ultimately share equally. Until the class closes, more potential class members may enter the class as they are born, but they may drop out of the class by not attaining the age of 21. Thus, the size of the class membership may fluctuate. *Id.*

Point Two (b) (35-45%)

Under the "rule of convenience," Adam may receive distribution of a *pro rata* portion of the principal of the trust at Brother's death since Adam has then fulfilled the condition precedent of attaining age 21 and there is then no outstanding present possessory estate. Ellen and Doris will receive their shares only if they reach age 21.

Although Brother has died, Cousin is still living and may have more children. Thus, the class of "Cousin's children" will not close physiologically until Cousin's death. However, absent any contrary intent of Grantor, the rule of convenience, which is a rule of construction, will close the class when any class member has a right to demand possession. Once a class closes, no new members can join the class.

A class member can demand possession of his share if there is no outstanding present possessory estate and the class member's interest is not subject to the happening of any unfulfilled condition precedent. Once the class closes, no new class members will be permitted to enter and take a share of the gift, although some may drop out of the class by failing to attain 21.

“The rule strikes a balance between a donor’s desire to include all possible members of the class and the desire to allow distribution to those who have qualified to take. It also avoids the administrative problems that would develop if living beneficiaries took property, subject to giving some back as new class members appeared.” Roger W. Andersen, *Understanding Trusts and Estates* 233.

Under the rule of convenience, Adam can demand a share at Brother’s death because both life tenants, Grantor and Brother, are dead, and Adam is a child of Cousin who has attained the age of 21. Adam will be entitled to a share of the trust principal in proportion to the total number of Cousin’s qualifying children who are currently living. At the time the class closes, there are two (or three) members of the class since they were born (or adopted) before the class closed. If either Ellen or Doris attains age 21, she will receive her proportionate share. If either of them fails to attain age 21, she falls out of the class and Adam (and the other member who has attained 21) will also receive a *pro rata* portion of that deceased class member’s share. If Cousin has additional children after the class closes, those children will not be permitted to share in the trust because the class will have closed prematurely under the rule of convenience. *See* Bergin & Haskell, *supra*, at 146-147; Andersen, *supra*, at 234.

2001
MEE Questions
and Analyses

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Preface

This publication includes the questions and analyses from the February 2001 and July 2001 Multistate Essay Examinations. Each test includes seven questions; most jurisdictions that use the MEE select the six questions their applicants will answer.

The model analyses to the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions for the sole purpose of assisting graders in grading the examination. These models are not an official grading guide. Some jurisdictions grade the MEE on the basis of state law, and jurisdictions are free to modify the analyses as they wish, including the suggested weights given to particular points. Grading of the MEE is the exclusive responsibility of the jurisdiction using the MEE as part of its admissions process.

The topic or topics covered by each question are listed on the first page of its accompanying analysis, followed by Roman numerals which refer to the MEE subject matter outline for that topic. For example, Question 1 on the February 2001 MEE tested Decedents' Estates II.I, will construction problems, II.A, execution requirements, and II.F, revocation. Subject matter outlines are included in the *MEE Information Booklet* and can also be found at www.ncbex.org.

Description of the MEE

The MEE is a three-hour examination consisting of six questions. The examination is administered in one continuous three-hour time period. Applicants are expected to spend approximately thirty minutes answering each of the questions. The areas of law covered by the questions in the examination are: Agency and Partnership, Commercial Paper, Conflict of Laws, Corporations, Decedents' Estates, Family Law, Federal Civil Procedure, Sales, Secured Transactions, and Trusts and Future Interests. Some questions include issues in more than one area of law.

The purpose of the MEE is to test the applicant's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the applicant to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test form contains the following instructions:

Do not break the seal on this booklet until you are told to begin.

You will have three hours in which to write your answers to six of the seven questions contained in this booklet; you will be told which of the questions you are to answer. Each question is designed to be answered in thirty minutes. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise, simply draw a line through the material you wish to delete.

Read each fact situation very carefully and do not assume facts which are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show: an understanding of the facts; a recognition of the issues included; the applicable principles of law; and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Some jurisdictions instruct applicants to answer MEE questions according to the law of the jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

February 2001 MEE

► *QUESTIONS*

Decedents' Estates
Agency & Partnership
Commercial Paper
Family Law
Federal Civil Procedure
Trusts
Corporations

DECEDENTS' ESTATES QUESTION

Testator's last will included the following four dispositive provisions:

1. I leave my family portrait painted by Painter to my sister, Susan.
2. I leave \$100,000 each to my child Leslie, my child Doris, and my wife, Wendy.
3. I leave \$40,000 to my brother, Ben, and direct that my stamp collection be sold to satisfy this bequest.
4. I leave the balance of my estate to the trustees of my alma mater, University.

Testator's will was signed by Testator and witnessed by Testator's brother, Ben, and by Testator's accountant, Aaron.

Two years after the will was executed, Testator and Wendy divorced. As a result of their property settlement agreement incident to that divorce, Testator transferred \$200,000 to Wendy. That agreement imposed no further obligations on Testator.

Testator never remarried. Three years after the divorce, Testator died a domiciliary of State A. He was survived by Leslie and Doris, his only heirs, and the other individual devisees named in his will. Testator's estate consisted of the family portrait valued at \$2,000, the stamp collection valued at \$20,000, and \$110,000 on deposit at a local bank.

State A law provides that a will must be signed by the testator and witnessed by two witnesses. How should Testator's estate of \$132,000 be distributed? Explain.

AGENCY & PARTNERSHIP QUESTION

Three siblings, Andrew, Brenda, and Charles, are equal partners in ABC Partnership, a general partnership, which owns and operates a 2,000-acre farm. ABC does not have a written partnership agreement. The three partners meet periodically to discuss ABC's business but do not hold formal partnership meetings.

Andrew lives on the farm and manages its day-to-day operations. Neither Brenda nor Charles lives on the farm. Brenda owns an accounting business in town and helps keep ABC's books and records. Charles has an irrigation business in town and helps maintain ABC's irrigation system.

Andrew spent \$10,000 to purchase a disease-resistant hybrid seed for the farm. Ordinary seed would have cost \$6,000. Andrew purchased the seed in ABC's name, but the \$7,000 down payment for the seed was made using his own funds. Charles believes Andrew wasted money on this expensive seed because disease has never been a problem for ABC's farm. Charles is particularly concerned because the balance of the purchase price (\$3,000) is due in a month, and ABC does not have sufficient funds to pay the bill. Brenda and Charles never authorized Andrew to buy the more expensive seed and did not ask him to advance his own money for the down payment.

Andrew spends about twice as much time as his siblings conducting ABC business. Andrew has demanded that ABC pay him for the value of his services, although there is no express agreement that any of the partners should be compensated for their services.

Andrew entered into a written agreement with XYZ Farms to swap 500 acres of ABC cropland for 1,000 acres of woodland owned by XYZ that Andrew thinks ABC could divide and develop for a residential subdivision. Charles disagrees with Andrew's plan and is upset that any land would be sold since, in the 50 years that the farm has been operated by the partners' family, no land has ever been transferred. Andrew defends the swap saying, truthfully, that he and Brenda had agreed to the transaction after all three partners had discussed it.

1. Is Charles liable for any part of the unpaid balance on the seed? Explain.
2. Is Andrew entitled to reimbursement from the partnership or the partners for the down payment he made on the seed? Explain.
3. Is Andrew entitled to be paid for the value of all or part of his services to ABC? Explain.
4. Is the land swap agreement with XYZ Farms binding on ABC? Explain.

COMMERCIAL PAPER QUESTION

Maker and Neighbor own adjacent properties. For several years, Maker deposited leaves and grass clippings in a compost pile located in Neighbor's yard without Neighbor's permission. After a number of unsuccessful efforts to convince Maker to remove the compost pile, Neighbor sued Maker for trespass.

In settlement of the suit, Maker agreed to remove the compost pile and to give Neighbor a promissory note for \$1,000, payable on demand. Neighbor dismissed the lawsuit and, at the same time, Maker prepared, signed, and delivered to Neighbor a document that contained the following and nothing more:

I promise to pay \$1,000 to the order of Neighbor. /s/Maker

Neighbor, who owed Bank an overdue debt of \$900, got Bank to agree to accept Maker's note in full satisfaction of the overdue debt. Without notice to Maker, Neighbor wrote on the back of the note, "Pay to the order of Bank," signed it, and delivered it to Bank. Bank thereupon canceled the debt owed to it by Neighbor.

The following week, Maker removed the compost pile. At that time, Neighbor approached Maker and without presenting the note said, "I'm here to collect my \$1,000." Maker, unaware of the transaction between Neighbor and Bank, paid Neighbor \$1,000.

A few days later, Bank presented the note to Maker and demanded that Maker pay Bank \$1,000. Maker refused to pay Bank, telling Bank that he had already paid Neighbor the \$1,000.

1. Was Maker obligated to pay Neighbor when Neighbor demanded payment? Explain.
2. Was Maker obligated to pay Bank when Bank demanded payment? Explain.

FAMILY LAW QUESTION

Soon after Daughter was born to Father and Mother, Father was killed in an automobile accident. Mother found the economic pressures and time restraints of single parenthood overwhelming, and she began to drink heavily. Mother's friend, Caretaker, a childless widow making a comfortable living, began to help Mother financially and with frequent babysitting.

After a few months, Mother asked Caretaker if she would keep Daughter full time until Mother got her life back together. Caretaker agreed, and for the next four years Daughter lived with Caretaker. Mother, who had a serious alcohol problem and could not keep a job, visited Daughter only twice and contributed no money towards Daughter's support.

Six months ago, Mother joined Alcoholics Anonymous. Since that time, she has been sober, has found steady work, and has begun visiting Daughter more often. She wants Daughter, now five years old, to come back to live with her and insists that she never intended to relinquish Daughter to Caretaker permanently.

Caretaker, to whom Daughter is closely attached, has refused to return her. She believes that it is in Daughter's best interest to remain with her, because she and Daughter have a stable relationship and Caretaker is the only mother figure Daughter knows. A qualified child psychologist has evaluated Daughter and her relationships with Caretaker and Mother. The psychologist would testify that: (1) Daughter is bonded to Caretaker, who has become Daughter's psychological mother; (2) Daughter recognizes Mother and is not afraid of her but does not have a child-parent relationship with her; and (3) if Daughter were separated from Caretaker, she would certainly suffer short-term emotional harm and might suffer permanent emotional damage.

This jurisdiction's adoption statutes provide that a child cannot be adopted without the mother's consent unless the mother has abandoned the child. Caretaker has filed a petition to adopt Daughter, alleging that Mother had abandoned Daughter. In the alternative, Caretaker's petition seeks custody of Daughter. Finally, the petition asks for visitation rights in the event the requests for adoption and custody are denied. Mother opposes Caretaker's petition in all respects.

How should the court rule on Caretaker's petition? Explain.

FEDERAL CIVIL PROCEDURE QUESTION

Victim, a resident of State A, suffered personal injuries in a fall that occurred when she was exiting a tour bus operated by Bus, Inc., a company incorporated under the laws of State B with its principal place of business in State B. At the time of the injury, Victim and other tour guests were sightseeing in State A.

Victim filed a complaint against Bus in federal district court in State B. The complaint alleged negligence and requested damages in the amount of \$100,000 for Victim's medical expenses, lost wages, and pain and suffering. In its answer, Bus denied that it was negligent.

The federal district court in State B requires the initial disclosure provided for by Federal Rule of Civil Procedure 26(a)(1).

After the pleadings closed and the deadline for initial disclosure of documents had passed, the parties engaged in formal discovery for several months. At no time during discovery did either party request or produce the tour ticket or any copy of it.

The federal district judge called a pretrial conference, ordering both counsel and litigants to appear "to discuss further scheduling and the possibility of settlement." No corporate representative of Bus attended the conference. When the judge raised the question of settlement and asked why no representative of Bus had appeared as required by the judge's order, counsel for Bus stated that Bus was unwilling to settle or even discuss settlement and argued that the court lacked authority to require Bus's participation. At that point, the judge held counsel and Bus in contempt for their refusal to participate in settlement discussions.

The final pretrial order, issued after the conference, identified the issues for trial as whether Bus had negligently maintained and operated the tour bus, whether such negligence caused Victim's injuries, and whether Victim's injuries were compensable in damages.

At trial, after the presentation of Victim's case in chief, Bus introduced the stub of the ticket used by Victim, which contained a "Waiver of Liability" clause. When Victim's counsel objected, the court sustained the objection, ruling that the waiver was beyond the scope of the final pretrial order and beyond the scope of the pleadings. Bus's counsel then moved to amend the answer and the pretrial order to include the question of waiver. The judge denied the motion. The jury ultimately returned a general verdict for Victim and awarded Victim full damages. The court entered judgment on the verdict.

Bus has appealed the contempt order on the ground that the trial judge lacked the power to order Bus to participate in settlement discussions. Bus has also appealed the judgment on the grounds that the trial judge erred in not allowing Bus to (1) amend the answer, (2) amend the pretrial order, and (3) introduce the waiver into evidence despite not having produced it earlier.

1. Should the contempt order be set aside on the ground urged by Bus? Explain.
2. Should the judgment be reversed on the grounds urged by Bus? Explain.

TRUSTS QUESTION

In 1998, Grantor created an irrevocable *inter vivos* trust naming Bank as trustee. The trust directed the trustee to pay the income to Grantor's child, Son, for life. The instrument further provided that upon Son's death, the trust principal should be distributed in equal shares to Son's surviving children. The trust instrument did not authorize the trustee to invade the trust principal for the benefit of Son.

At the time the trust was created, Son was divorced and was in some financial difficulties. Accordingly, Grantor included the following clause in the trust instrument:

The interest of any trust beneficiary, whether in the income or principal of the trust, shall not be capable of assignment, anticipation, or seizure by legal process. In particular, none of the trust income shall be used to satisfy any claim against any beneficiary for unpaid alimony or child support.

The trust principal consisted of 500 shares of XYZ Corporation common stock.

Prior to 1996, Son's former spouse, Wife, had obtained a judgment against him for \$10,000 for unpaid alimony. In 1997, Creditor had obtained a judgment against Son for \$20,000 for money it lent to Son to finance Son's failed business venture. Wife and Creditor seek to enforce their respective judgments against Son's interest in the trust.

In 2000, XYZ Corporation, which typically distributed dividends in cash, paid the trustee a stock dividend of one-tenth of a share of stock for each share the trust owned.

1. Can Creditor compel Bank to pay its claim against Son from either the trust's income or principal? Explain.
2. Can Wife compel Bank to pay her claim for unpaid alimony from either the trust's income or principal? Explain.
3. Can Son be compelled to pay the claims of Wife or Creditor from the trust income that is actually distributed to him from the trust? Explain.
4. Should Bank distribute the stock dividend to Son as income or retain the dividend as part of the trust principal? Explain.

CORPORATIONS QUESTION

Acme Corp. has 100 shares of common stock authorized, issued, and outstanding. Each share is entitled to one vote. The corporate records show that these shares are owned equally by five shareholders: Brenda, Candace, David, Eric, and Fran.

Acme held its annual meeting of shareholders on March 25. The record date for the meeting was 20 days before the meeting, as permitted by applicable law. Acme gave proper notice of the meeting to all five shareholders.

Of the five shareholders of record, only Candace and Fran were present at the meeting. However, two other individuals, George and Henry, were also present. George handed to the corporate secretary a proxy signed by Brenda and dated the day before the meeting, authorizing George to vote Brenda's shares at the meeting. Henry had purchased Eric's shares the day before the meeting and produced evidence of a sale.

The Chair of the meeting declared that a quorum was present and that Candace, Fran, and George were entitled to vote at the meeting. However, the Chair declared that Henry was not entitled to vote at the meeting.

One of the items on the agenda was the election of directors. According to Acme's bylaws, three directors have to be elected at Acme's annual shareholders' meeting.

At the meeting, the votes for director were cast as follows:

Candace cast 20 votes for Candace, 20 votes for Fran, and 20 votes for David.
Fran cast 20 votes for Candace, 20 votes for Fran, and 20 votes for David.
George cast 20 votes for George, 20 votes for Brenda, and 20 votes for Henry.

Henry attempted to cast a ballot of 20 votes for George, 20 votes for Brenda, and 20 votes for Henry. However, the Chair refused to accept Henry's ballot. The Chair then declared that Candace, Fran, and David were elected as directors.

There are no provisions in the articles of incorporation or the bylaws of Acme that are relevant to the following questions.

1. Was Henry entitled to vote at the annual meeting and, if not, what could he have done to acquire the right to vote? Explain.
2. Was there a quorum present for shareholder action at the annual meeting? Explain.
3. Did Candace, Fran, and David receive sufficient votes to be elected as directors of Acme? Explain.

July 2001 MEE

► *QUESTIONS*

*Agency & Partnership
Trusts*

Secured Transactions

Decedents' Estates

Family Law

Commercial Paper/Agency

Federal Civil Procedure

AGENCY & PARTNERSHIP QUESTION

Principal is an antiques dealer. As is common in the antiques business, Principal acquires inventory by using a group of buyers to purchase antiques on his behalf. Principal pays the buyers a percentage commission on the items they buy for Principal. Principal trains the buyers to be able to evaluate potential purchases and sends them into the field with specific instructions as to the items Principal wants them to buy. The buyers are given credentials identifying them as buyers for Principal, and they use these credentials to introduce themselves to potential sellers. The buyers, using Principal's contract forms, enter into contracts with sellers.

Agent, one of Principal's buyers, was sent out to purchase antiques for Principal. During the next several months, the following three transactions took place:

Using Principal's credentials, Agent bought an antique church bell for \$3,500 from Bellseller, who believed that Agent was acting on behalf of Principal. The church bell was on Principal's acquisition list and the price was within the range authorized by Principal. However, Agent did not intend to purchase the bell for Principal. Instead, Agent bought the bell for Greta, a competing antiques dealer, who had agreed to pay Agent \$250 to find such a bell. Agent's intention was to use Greta's money to pay for the bell. Greta rejected the bell. Principal, who has received a demand from Bellseller, has decided he does not want the bell and has refused to pay Bellseller.

Agent had a written authorization from Principal to buy several books, including *Looking Backward* by Edward Bellamy. Agent showed this authorization to Tomeseller, who had a first edition of *Looking Backward*. However, Agent did not tell Tomeseller that Principal had given Agent an oral instruction, not to be disclosed to anyone, that Agent should not pay more than \$8,000 for the book. Agent bought the book on Principal's behalf for \$12,500. Principal now refuses to pay Tomeseller.

When Principal learned of Agent's transactions with Bellseller and Tomeseller, he decided to stop using Agent as his buyer. Principal sent Agent a letter terminating his agency and asking Agent to return the credentials that Principal had provided to Agent.

Several days after Agent received the letter from Principal, Agent purchased for his own account a whale oil lamp for \$5,000 from Lampseller. Agent told Lampseller that the purchase was for Principal's account, showed Lampseller his credentials from Principal, and purchased the lamp using the contract forms provided to him by Principal. Agent did not disclose to Lampseller that Principal had terminated Agent as his buyer. Principal now refuses to pay Lampseller because, at the time of the purchase, Principal had terminated Agent and Agent was no longer Principal's buyer.

Is Principal liable to:

1. Bellseller for the purchase of the church bell? Explain.
2. Tomeseller for the purchase of the book? Explain.
3. Lampseller for the purchase of the whale oil lamp? Explain.

TRUSTS QUESTION

Harry, a widower, and Wanda, residents of State A, decided to marry. Prior to the wedding ceremony, they signed a prenuptial agreement in which Wanda waived her right to receive alimony in the event of a divorce. The agreement further stated that “in consideration of this waiver, Harry shall establish an inter vivos trust of the first \$1 million he inherits from his mother, with himself as trustee to pay the income to Wanda for life.” They agreed that Harry was free to designate any person to take the trust property at Wanda’s death.

Three years later, Harry’s mother died, leaving her substantial estate to him. In addition to Harry, her only surviving relatives were Charles, who is Harry’s child from his first marriage, and Mary and Pat, Harry’s two nieces.

Two months after his mother died, Harry orally declared himself trustee of \$1 million. In making this oral declaration Harry stated: “I will pay all trust income to my wife, Wanda, for her life and, when she dies, if I don’t have any issue who survive me, then I or my successor should distribute the trust principal to my surviving nieces and nephews.” Harry did not state who would succeed him as the trustee if he died prior to the termination of trust.

Harry died two months ago at his home in State A. Until his death, he faithfully paid the trust income to Wanda. Harry was survived by Wanda and by Charles, Mary, and Pat. One month after Harry died, Wanda, who had recently inherited substantial property from her father, disclaimed her income interest in the trust property.

Under the laws of State A, Wanda’s disclaimer of her interest in the trust property is valid. In addition, under the intestacy laws of State A, any property distributable as part of Harry’s probate estate passes one-third to Wanda and two-thirds to Charles.

1. Was Harry’s promise in the prenuptial agreement to create a trust in the future for Wanda legally enforceable? Explain.
2. Was the trust Harry later created for Wanda validly created? Explain.
3. Assuming the trust for Wanda was validly created, did the trust terminate at Harry’s death because there was then no trustee? Explain.
4. Assuming the trust for Wanda was validly created, what is the effect of her valid disclaimer, and should the trust principal be immediately distributed and, if so, to whom? Explain.

SECURED TRANSACTIONS QUESTION

Arcade, Inc. is in the business of selling pinball machines. Arcade needed funds to buy furniture for its showroom. On February 1, Arcade borrowed \$10,000 from Bank and signed a valid financing statement, which stated that it covered all of Arcade's "inventory now owned or hereafter acquired." Bank neglected to obtain a signed security agreement from Arcade but properly filed the financing statement in the correct locations on February 12.

On June 1, Arcade borrowed \$40,000 for working capital from Finance and signed a valid security agreement granting to Finance a security interest in its "inventory now owned or hereafter acquired." Also on June 1, Arcade signed financing statements, which properly described the collateral. On June 5, Finance filed proper financing statements in the correct locations.

On July 1, Bank realized that it had failed to obtain a security agreement from Arcade. On that date and at Bank's request, Arcade signed a valid security agreement, properly describing the collateral as "inventory now owned or hereafter acquired."

On August 20, Arcade purchased three pinball machines from Supplier on credit. The three machines were set aside in Supplier's warehouse and tagged "Sold to Arcade." Supplier took a security interest in the three pinball machines to secure payment of the purchase price. Also on August 20, Arcade signed both a valid security agreement covering the three pinball machines and valid financing statements. Supplier filed the financing statements in the correct locations on August 21 and sent proper notice of its security interest to Bank and Finance, both of whom received and read the notice by August 25. Arcade took possession of the machines on August 31 and placed them in its showroom for sale to customers.

On October 1, Oscar purchased a pinball machine from Arcade. This machine was one of the three machines that Arcade had purchased from Supplier. Oscar had no actual knowledge of any of the security interests held by Arcade's creditors.

Arcade defaulted on its loans to Bank and Finance and failed to pay Supplier. At the time of the default, Arcade's inventory consisted only of the two remaining pinball machines that had been previously purchased from Supplier. Bank, Finance, and Supplier are all claiming security interests in the two remaining pinball machines, as well as in the pinball machine purchased by Oscar.

1. What is the order of priority among Bank, Finance, and Supplier in their respective claims to a security interest in the two remaining pinball machines left in Arcade's inventory? Explain.
2. Can Bank, Finance, or Supplier successfully enforce a security interest in the pinball machine purchased by Oscar? Explain.

DECEDENTS' ESTATES QUESTION

On May 18, 1997, Testator duly executed a typewritten will in the presence of three witnesses. The will contained only the following three paragraphs:

1. I give my watch to my brother, Ben.
2. I give my dining room table to my sister, Sarah.
3. I give the balance of my tangible personal property to the person named in a letter I signed and dated May 17, 1997, which I have placed in the desk in my home.

Testator died on January 2, 2000, a domiciliary of State A. The foregoing will was found in the desk in Testator's home. However, in paragraph 2 of the will, the phrase "dining room table" had been scratched out and immediately above it the word "automobile" was typed. And, on the back of the will, the following language appeared in Testator's handwriting: "I don't want Ben to have my watch. I want it to go to my first cousin, Chris." No signatures appeared on the back of the will beneath this writing.

The letter referred to in paragraph 3 of the will was found in the desk, and named Nicole, the daughter of Sarah, as the beneficiary.

Testator's only surviving blood relatives are Ben, Sarah, Chris, and Nicole. In addition to the watch, dining room table, and automobile, Testator left a \$10,000 bank account.

State A permits wills to be completely or partially revoked by the execution of a subsequent will or codicil, by physical act or by cancellation, when accompanied by an intent to revoke. State A law also provides that "unsigned holographic wills or codicils are valid."

To whom should Testator's estate be distributed? Explain.

FAMILY LAW QUESTION

Father and Mother divorced one year ago after a 14-year marriage. At the time of the divorce, Mother and Father lived in State A. They were both 39 years old, each had a college education, and they had two children, aged 10 and 12.

As part of the divorce decree, the court awarded custody of the two children to Mother. The court also ordered Father to pay Mother \$2,000 per month in child support. In addition, the court ordered Father to pay Mother \$500 per month in spousal support for five years. After their property was divided, they each ended up with \$50,000 and a car.

Mother continued living in State A with the children. Mother had been working full-time for \$28,000 per year at a daycare center prior to the divorce. Five months after the divorce, she had a heart attack. This forced her to cut back to three-quarter-time work, resulting in a pay reduction to \$21,000 per year. Her doctor recommends that she not resume full-time work, because full-time work and caring for the children and the home would be too stressful.

For the first six months after the divorce, Father paid Mother the full amount he owed; but, for the past six months, Father has paid Mother nothing. Three months ago, Father was terminated from his \$100,000-per-year job because of company downsizing. He received a lump sum severance payment of \$50,000. Father decided to move to State B, in part because he hoped he could avoid paying Mother and in part because the job prospects were better there. He transferred all his bank accounts to State B. Although he has had several interviews and his prospects are good for finding a job comparable to the one he had, he does not yet have another job.

Mother has brought an action in State B court to collect child support and spousal support from Father. She claims that the spousal support obligation should be increased to \$1,000 per month because she is in poor health. She also asks that the spousal support be extended for an additional five years.

Father claims that the State A child support order is no longer effective and cannot be enforced because he has moved to State B. In the alternative, he claims that his child support obligation should be reduced from \$2,000 to \$1,000 per month because of his unemployment. In addition, he asks that this modification be made six months retroactive. Father also opposes any increase in his spousal support obligation.

Both State A and State B are in compliance with federal law concerning the enforcement of child support orders.

1. Is State B required to recognize the State A child support order? Explain.
2. Does the State B court have jurisdiction to modify Father's child support obligation? Explain.
3. Without regard to jurisdictional issues, how should a court rule on Father's requests to modify his child support obligation? Explain.

Family Law Question

4. Without regard to jurisdictional issues, how should the State B court rule on Mother's request for an increase in and extension of the spousal support obligations? Explain.

COMMERCIAL PAPER/AGENCY QUESTION

Singer was a famous musician. Agent was authorized to collect payment for all of Singer's performances. Agent had no rights in any of the payments due Singer.

In payment for a completed performance by Singer, Concert issued a \$20,000 check drawn on Bank One. As instructed by Singer, Concert made the check payable to the order of "Agent, as agent for Singer," and delivered the check to Agent. On the memo line on the face of the check, Concert had written, "For Singer's June 19th performance."

Agent visited Bank Two, where both she and Singer maintained separate checking accounts. Agent's personal account, #12345, was overdrawn. Agent spoke with Bank Two's manager, Manager, and apologized for being overdrawn in her personal account. Agent told Manager that, as a "temporary arrangement to cover the overdrafts," she wanted to deposit the \$20,000 check from Concert into her own personal account at Bank Two. Agent indorsed the check as follows: "For Deposit To Account #12345 s/Agent."

Manager made the deposit as indicated by Agent although he knew that on all prior occasions Agent had deposited checks for Singer's performances into account #56789, which was Singer's checking account with Bank Two. The check was credited to Agent's personal account with Bank Two, clearing Agent's overdrafts, and the check was then timely presented to and paid by Bank One. Within the next few days, Agent withdrew the remaining balance from account #12345 and closed the account.

Subsequently, Agent and Singer had a falling out. Singer discovered the above facts and demanded that Bank Two pay him \$20,000. Bank Two refused. Agent cannot be located.

Under the Uniform Commercial Code:

1. Can Singer successfully sue Bank Two for conversion and recover the \$20,000? Explain.
2. What rights, if any, does Singer have to recover from Bank One? Explain.
3. What rights, if any, does Singer have to recover from Concert? Explain.

FEDERAL CIVIL PROCEDURE QUESTION

Plaintiff, a resident of State X, is a shareholder in Silver, Inc., a State X corporation. Plaintiff purchased 10,000 shares of Silver stock for \$20 a share in Silver's initial public offering (IPO). Three weeks after the IPO, the value of Silver stock had fallen to \$15 a share, and Plaintiff filed an action for securities fraud against Silver in federal district court. The complaint alleged that the registration statement for the IPO filed by Silver with the Securities and Exchange Commission (SEC) was materially false and misleading, and therefore violated relevant provisions of the Securities Exchange Act of 1934 as well as SEC regulations. Plaintiff sought damages of \$50,000 for this violation.

Shortly after Plaintiff's initial filing, the SEC filed a public enforcement lawsuit against Silver, *SEC v. Silver*, in another federal district court. The claim asserted by the SEC, that the registration statement for the IPO contained false and misleading representations, was identical to the claim asserted in the *Plaintiff v. Silver* lawsuit. The SEC lawsuit went to trial very quickly, and Silver vigorously contested the misrepresentation issues in the SEC lawsuit. The SEC won its lawsuit. A declaratory judgment was entered finding that Silver's registration statement contained false and misleading information and enjoining Silver from making those misrepresentations in the future. That judgment became final, and Silver did not appeal.

Plaintiff then moved for partial summary judgment against Silver based on the judgment in *SEC v. Silver*. Plaintiff argued that the *SEC v. Silver* judgment conclusively determined the issue whether the information contained in the registration statement was false and misleading. Silver opposed the motion on the ground that it had the right to litigate this issue against Plaintiff because Plaintiff had not been a party to the *SEC v. Silver* lawsuit.

The district court judge denied Plaintiff's motion for partial summary judgment on the ground that Plaintiff, a non-party to the *SEC v. Silver* action, could not rely upon the judgment in that case to preclude Silver from relitigating issues that were central to Plaintiff's claim. Plaintiff filed an appeal from this decision, although Plaintiff's case against Silver is still going forward in the district court.

Silver has moved to dismiss Plaintiff's appeal on the following grounds: (a) that the district court's denial of Plaintiff's judgment was not a final judgment subject to review; (b) that the collateral order exception is inapplicable; and (c) mandamus does not lie.

1. Did the district court properly refuse to give preclusive effect to the *SEC v. Silver* judgment when it denied Plaintiff's motion for partial summary judgment? Explain.
2. How should the appellate court rule on each of the grounds asserted in Silver's motion to dismiss the appeal? Explain.

February 2001 MEE

► *ANALYSES*

Decedents' Estates
Agency & Partnership
Commercial Paper
Family Law
Federal Civil Procedure
Trusts
Corporations

DECEDENTS' ESTATES ANALYSIS

(Decedents' Estates II.I, II.A, II.F)

ANALYSIS

Legal Problems:

- (1) Was either the will or the bequest to Ben invalidated because Ben was one of the two witnesses to Testator's will?
- (2) Was the bequest to Wendy revoked as a result of her divorce from Testator?
- (3) Since the assets of Testator's estate of \$132,000 are insufficient to satisfy all of the bequests under the will, how should the bequests abate?

DISCUSSION

Point One (30-40%)

The validity of the will is unaffected by the fact that Ben was a witness to the will. However, in most states Ben forfeits the \$40,000 bequest because two disinterested witnesses did not witness the will. On the other hand, in states that have adopted the Uniform Probate Code, Ben does not forfeit that bequest.

At common law, if a witness who received a benefit under a will witnessed the will, the will was invalid unless two disinterested witnesses also witnessed the will. The will was invalid because the interested witness was not competent to testify about the validity of the will in court; thus, its validity could not be judicially established. *See generally* RESTATEMENT (THIRD) OF PROPERTY (Donative Transfers) § 3.1, Comment o (Tent. Draft No. 2, 1998). In virtually every state, the common-law rule has been abolished and the witnessing of a will by an interested witness does not affect the validity of the will. *See, e.g.,* Unif. Prob. Code § 2-505. On the other hand, most states have statutes that provide that unless two disinterested witnesses witness the will, the interested witness forfeits the bequest to that witness. Some states temper that result if the interested witness would have been an heir of the testator by limiting the amount forfeited to the amount, if any, by which the bequest to the interested witness exceeds the beneficiary-witness's intestate share. *See generally* William McGovern, Sheldon Kurtz, and Jan Rein, WILLS, TRUSTS AND ESTATES (1988). If such statutes applied here, Ben would forfeit the entire \$40,000 bequest, as he is not an heir of Testator.

Under the Uniform Probate Code, on the other hand, an interested witness does not forfeit any portion of the bequest to the witness. The Uniform Probate Code justifies that approach by noting that the interested witness statute rarely prevents undue influence (an argument usually made to justify such statutes) and typically adversely affects bequests to innocent persons who act as witnesses to wills at a testator's express request. Under the Uniform Probate Code, Ben would not forfeit any portion of the \$40,000 bequest.

Point Two (30-40%)

The bequest of \$100,000 to Wendy is revoked as a result of her divorce from Testator after the execution of the will.

At common law, divorce did not revoke a bequest to a former spouse by operation of law. In most states today, a divorce revokes a provision in a will for the testator's former spouse unless the will, a contract between the former spouses, or a court order expressly provides otherwise. *See generally* Unif. Prob. Code § 2-804. In other states, divorce revokes a will provision for the spouse but only if the divorce is accompanied by a property settlement agreement. *See* Dukeminier & Johanson, WILLS, TRUSTS AND ESTATES 283 (5th ed. 1995). Here, Testator's divorce from Wendy was accompanied by a property settlement agreement. Thus, the provision for Wendy was revoked and she is not entitled to any share of Testator's estate.

Where a provision in favor of the former spouse is revoked by operation of law, as in this case, the bequest passes as if the former spouse predeceased the testator. While Testator's will did not expressly require Wendy to survive to take, by virtue of the statutory fiction that Wendy predeceased Testator, the bequest lapses. It lapses because lapse statutes do not apply to bequests to former spouses. Typically, lapsed general legacies are distributed as part of the residuary estate. *See, e.g.*, Unif. Prob. Code § 2-804(d).

Point Three (40-60%)

Legacies abate in the following order: residuary, general, and specific. Testator's \$132,000 estate is insufficient to satisfy all of the general and specific legacies under the will. Thus, the residuary estate fully abates, the specific bequest of the portrait can be fully funded, and the remaining bequests abate to a limited extent.

Both at common law and under the typical state abatement statute, legacies abate in the following order: (1) residuary bequests, (2) general bequests, and (3) specific bequests. For purposes of abatement, a demonstrative bequest is treated as specific to the extent of the designated fund from which it is payable, and treated as general to the excess, if any. *See* Unif. Prob. Code § 3-902(a).

Under Testator's will, Testator specifically bequeathed the family portrait to Susan. Testator created two effective general legacies of \$100,000 each in Leslie and Doris. (The bequest to Wendy was revoked by operation of law. *See* Point Two.) The legacy to Ben is forfeited under the interested witness statute in most jurisdictions. (See Point One.) In those states where it is not forfeited, the bequest of \$40,000 to Ben is treated as a demonstrative legacy that is specific to the extent of the value of the stamp collection (\$20,000) and general as to the remaining \$20,000 of value. *See* Unif. Prob. Code § 3-902(a).

If the bequest to Ben is forfeited because of an interested witness statute, there are \$130,000 of assets (not counting the specifically devised portrait) available for distribution to Leslie and Doris, who would each take \$65,000. Susan would take the portrait valued at \$2,000. The residuary bequest to University is totally abated.

If the bequest of \$40,000 to Ben is not forfeited, then \$20,000 of that bequest (the portion that cannot be satisfied by the specific bequest of the stamp collection) as well as the \$100,000

Decedents' Estates Analysis

bequests to Leslie and Doris are treated as general legacies for a total of \$220,000. Thus, the \$110,000 of the estate remaining after \$22,000 of assets is distributed to Ben and Susan, the two specific legatees, would have to be allocated among the three general legatees to whom \$220,000 had been bequeathed. Of that, \$10,000 (1/11th) would be payable to Ben, \$50,000 (5/11th) would be payable to Leslie, and \$50,000 (5/11th) would be payable to Doris. The residuary estate is totally abated.

AGENCY & PARTNERSHIP ANALYSIS

(Agency & Partnership VII, VIII.B)

ANALYSIS

Legal Problems:

- (1) Is a general partner responsible for the debts of a general partnership if the partnership has insufficient funds to meet the debt, when the partners did not expressly authorize the debt?
- (2) Is a general partner who advances his own funds to purchase goods for the partnership entitled to reimbursement from the partnership?
- (3) Is a general partner who contributes more services to the general partnership than the other partners entitled to remuneration from the partnership?
- (4) May a majority, but less than all, of the partners bind the general partnership to a transaction outside the ordinary course of business without approval of all of the partners?

DISCUSSION

Point One (20-30%)

Partners are agents of a general partnership for the purpose of binding the partnership and are responsible for the obligations of the partnership.

Andrew purchased the special hybrid seed without obtaining the consent of the other partners. As a general rule, partners are agents of the partnership, and, as such, their acts (including entering into contracts) bind the partnership. Uniform Partnership Act (1969)(UPA) § 9(1). “An act of a partner, including the execution of an instrument in the partnership name, for apparently carrying on in the ordinary course the partnership business or business of the kind carried on by the partnership, binds the partnership, unless the partner had no authority to act for the partnership in the particular matter and the person with whom the partner was dealing knew or had received a notification that the partner lacked authority.” *Id.* See also Revised Uniform Partnership Act (1994)(RUPA) § 301(1).

In this case, the special hybrid seed was purchased in the name of ABC Partnership. Purchasing seed for a farm, including expensive disease-resistant seed, constitutes carrying on in the ordinary course of ABC’s partnership business. Because Andrew has operated the farm on a day-to-day basis, the seed vendor could properly assume that the purchase of the seed was for carrying on the ordinary business of the partnership and that Andrew had authority to make the purchase. As a result, ABC is liable for payment of the seed.

Agency & Partnership Analysis

Partners are jointly responsible for the debts of a general partnership. UPA § 15(b). Under RUPA, partners are jointly and severally liable for general partnership obligations. RUPA § 306(a).

Because the contract to purchase seed is an enforceable obligation of ABC, Charles is jointly (and, under RUPA, severally) liable with Andrew and Brenda for the obligation.

Point Two (20-30%)

A partner who uses his own funds to purchase goods for the partnership is entitled to reimbursement.

A partner is entitled to be repaid by the partnership for contributions to partnership property made by the partner individually. UPA § 18(a). Since Andrew made the \$7,000 down payment from his own funds as an advance to the partnership, ABC is obligated to repay him that amount. *See also* RUPA § 401(d) (“A partnership shall reimburse a partner for an advance to the partnership beyond the amount of capital the partner agreed to contribute.”). Although the facts imply that ABC does not have sufficient funds, Andrew still has the *right* to be reimbursed by the partnership. Since, as previously stated, each partner is liable for the debts of the partnership, Charles and Brenda will also be personally liable for a portion of the down payment if the partnership is unable to reimburse Andrew.

Point Three (15-25%)

Partners are not entitled to be paid for their services to a general partnership, unless the partners have an express agreement to provide such payments, but some courts will allow remuneration based on an implied agreement.

Andrew claims that he is entitled to be paid by ABC for his services to the partnership because he contributed many more services than Brenda and Charles. As a general rule, a partner is not entitled to separate remuneration for services on the theory that a partner’s compensation for his or her services is his or her share of profits. UPA § 18(f), RUPA § 401(h).

There are two exceptions to this rule. First, in the case of a winding up of the partnership, a surviving partner is entitled to reasonable compensation for services rendered in connection with winding up the business of the partnership. Since ABC is not winding up operations, this would not apply to Andrew’s request.

The second exception is where the partners expressly agree to pay a partner for his or her efforts. The UPA is explicit that the rights of a partner as stated in the Act, including the right to receive remuneration, may be changed by an agreement among the partners. UPA § 18. If partners want to pay salaries, they must agree to do so. Harold Gill Reushlein & William A. Gregory, *THE LAW OF AGENCY AND PARTNERSHIP* § 186, at 275-76 (1990). Here the partners had no express agreement to pay any remuneration to Andrew. On that basis many courts would find that Andrew is not entitled to any compensation for his services to ABC. *Yoder v. Hooper*, 695 P.2d 1182 (Colo. Ct. App. 1984). However, other courts have permitted remuneration based on an implied agreement to compensate a partner but there are no facts here to suggest an implied agreement. *Knutson v. Laner*, 627 P.2d 66 (Utah 1981).

Point Four (25-35%)

All partners must consent to the land swap by ABC Partnership in order for it to be binding on ABC since the action is outside the ordinary course of ABC's business.

As a general rule, matters outside the ordinary course of a partnership's business must be unanimously approved by the partners. UPA § 18(h); RUPA § 401(j). Although the UPA and the RUPA do not define the types of acts that are sufficiently outside the ordinary course of business to require the consent of all partners, the facts make clear that ABC's sale of 500 acres of farmland and purchase of land to be developed for a subdivision are not within the scope of the ordinary course of business of its farm operations. While a conveyance of land might be in the ordinary course of business when one partner had been given authority in the past to convey pieces of land, this was not the case here. *See Smith v. Dixon*, 238 Ark. 1018, 386 S.W.2d 244 (1965).

Because the transaction was not in the ordinary course of ABC's business and because it was not unanimously approved by the partners, Andrew's actions did not bind ABC. UPA § 9(2); RUPA § 301(2). Should XYZ claim Andrew had apparent authority to sell the land, that claim would fail because the transaction was not in the ordinary course of ABC's business. The nature of the transaction (i.e., not in the ordinary course of the partnership's business) put XYZ constructively on notice that Andrew alone might not have the authority to engage in the transaction.

COMMERCIAL PAPER ANALYSIS

(Commercial Paper II.B, II.H, IV.A, VII.A)

ANALYSIS

Legal Problems:

- (1) Did Maker have an obligation to pay Neighbor when Neighbor demanded payment?
- (2) Did Maker have an obligation to pay Bank?

DISCUSSION

Point One (45-55%)

Maker had no obligation to pay Neighbor when Neighbor demanded payment. Neighbor lost the right to enforce the note when Neighbor transferred possession of the note to Bank.

Under the Uniform Commercial Code, the document prepared by Maker is a negotiable instrument, i.e., it is “an unconditional promise or order to pay a fixed amount of money” that is “payable to bearer or to order,” that is “payable on demand or at a definite time,” and that “does not state any other undertaking.” UCC § 3-104(a). The document prepared by Maker satisfies this definition because Maker promised to pay \$1,000 to the order of Neighbor, and Maker did not promise to do anything else in the document. The document is a note because it is a written and signed undertaking to pay money. *See* § 3-104(e)(defining a “note” as a “promise”); § 3-103(a)(9)(defining a “promise” as a “written undertaking to pay money signed by the person undertaking to pay”). It is payable “on demand” because it does not state any time of payment. *See* UCC § 3-108(a)(ii).

In order for Maker to have been obligated to pay the money to Neighbor upon Neighbor’s demand, Neighbor would have had to have been a person entitled to enforce the note when he demanded payment. In circumstances like those present in this case, the UCC defines a “person entitled to enforce” a negotiable instrument as “the holder of the instrument.”

Neighbor was not a holder when he demanded payment because he had delivered the note to Bank and was not in possession of it. *See* UCC § 1-201(20)(requiring the “holder” of a negotiable instrument to have “possession”).

In short, Maker should not have paid Neighbor without insisting that Neighbor exhibit the note before Maker paid the money. *See* UCC § 3-501(b)(2)(“Upon demand of the person to whom presentment is made, the person making presentment must . . . exhibit the instrument”).

Point Two (45-55%)

Maker is obligated to pay Bank. Bank is a person entitled to enforce the note against Maker, and Maker cannot assert any defense to payment.

Bank is the holder of the note. The “holder” of a negotiable instrument is “the person in possession . . . in the case of an instrument payable to an identified person, if the identified person is in possession.” UCC § 1- 201(20). Bank is in possession of the note and the note is payable to Bank because Neighbor wrote “Pay to the order of Bank” on it and indorsed it. *See* § 3-204(a)(describing indorsement). As the holder, Bank is entitled to enforce the note against Maker, who issued the note. *See* § 3-301 (defining “person entitled to enforce”); § 3-412 (obligating issuer to pay the note to a person entitled to enforce the note).

Although Maker has paid Neighbor, Maker cannot assert this payment as a defense to enforcement by Bank. There are two independent reasons for this conclusion, either of which is sufficient. First, the payment to Neighbor did not discharge Maker’s obligation because Neighbor was not entitled to enforce the note. *See* UCC § 3-602(a)(stating that payment discharges an instrument only “to the extent payment is made . . . to a person entitled to enforce”). As explained above, Neighbor was not a person entitled to enforce the note because Neighbor did not have possession of the note.

Second, Bank is a “holder in due course.” A holder in due course is a holder who takes an instrument in good faith, for value, and without notice of any defenses or various other problems. *See* UCC § 3-302(a), (b). From all indications, Bank acted in good faith. *See* § 3-103(a)(4)(defining “good faith” as “honesty in fact and observance of reasonable commercial standards of fair dealing”). Bank took the note for value because it canceled Neighbor’s outstanding debt. *See* § 3- 303(a)(stating that an instrument is transferred for “value” if it is transferred “as payment of . . . an antecedent claim”). The facts do not suggest that Bank had notice of any defenses or other problems with the note.

As a holder in due course, no discharge would be effective against Bank unless Bank had notice of it at the time Bank took the note. *See* UCC § 3-601(b)(“Discharge of the obligation of a party is not effective against a person acquiring rights of a holder in due course of the instrument without notice of discharge.”). Bank could not have had notice of the payment to Neighbor because the payment occurred after Bank acquired the note. Maker must pay Bank even though Maker already has paid Neighbor. *See Lambert v. Barker*, 348 S.E.2d 214 (Va. 1986).

FAMILY LAW ANALYSIS

(Family Law IV. A, IV.B, IV.E, VI.F)

ANALYSIS

Legal Problems:

- (1) Under what circumstances will a parent be deemed to have abandoned her child so the child could be adopted by a third-party custodian without the parent's consent?
- (2) In a custody dispute between a parent and a third party with whom the child has lived for a number of years, to whom is the court likely to award custody?
- (3) Would a third party who has developed a substantial relationship with a child be awarded visitation rights over the objections of the child's parent?

DISCUSSION

Point One (35-45%)

In some states, a parent cannot be found to have abandoned her child so long as she subjectively intends to maintain a relationship with the child; in other states, if a parent has failed to express substantial interest in her child, she may be found to have abandoned the child, regardless of her subjective intent.

Under the traditional law of adoption, to establish "abandonment" courts required proof that the parent subjectively intended to abandon the relationship; proof of behavior that objectively suggests a fixed loss of interest in the child was not sufficient. *E.g., In re Adoption of Walton*, 123 Utah 380, 259 P.2d 881 (1953). In a state that uses the subjective test, Mother has not abandoned Daughter because (1) Mother insists that she never intended to terminate her relationship with Daughter, and (2) she asked Caretaker to keep Daughter only until Mother "got her life back together." Accordingly, Caretaker could not adopt Daughter because Mother has not abandoned Daughter and will not consent.

On the other hand, some states use an objective test for abandonment under which a court might find that Mother had abandoned Daughter. The inquiry under this test is whether the parent has acted in ways that indicate a commitment to maintaining the parent-child relationship, and includes factors such as whether the parent paid support or visited the child. *See, e.g., In the Matter of the Appeal in Pima County Juvenile Severance Action No. S-114487*, 179 Ariz. 86, 876 P.2d 1121 (1994)(en banc). Here, a court might well find that Mother's failure to pay even a minimal amount of support and her very infrequent visits constituted abandonment, though her recent efforts to reestablish her relationship with Daughter cut against this finding. If Mother is found to have abandoned Daughter, then Daughter would be available for adoption, and Caretaker would probably be able to adopt her.

Point Two (35-45%)

In a custody contest between a parent and a third party, custody in the parent is presumed to be in the best interest of the child. To rebut this presumption, the third party must generally prove either that the parent is unfit or that granting custody to the parent would be highly detrimental to the child. In some states, however, the court may award custody to the third party upon finding that doing so would be in the child's best interest.

In custody cases between two parents, the standard is the best interest of the child. However, in most states this standard is not used in parent vs. third party disputes. Instead, there is a strong presumption that a child should be in the custody of the parents; therefore, Caretaker has the burden of proving that she should have custody of Daughter. H. Clark, *THE LAW OF DOMESTIC RELATIONS* § 19.6 at 821 (1988). In many jurisdictions, as long as the parent is considered fit, the court will not even consider whether third-party custody would be better for the child. Clark, *supra* § 19.6 at 823. Therefore, in such a jurisdiction, Mother would almost certainly receive custody of Daughter. She is currently fit, has employment, is attending Alcoholics Anonymous (and has been for six months), and has not lost contact with her child (i.e., no abandonment). In those jurisdictions, the court would not consider Daughter's strong attachment to Caretaker to mitigate Mother's claim.

In other jurisdictions, however, the presumption in favor of parental custody can be overcome by showing that awarding custody to the parent would be very detrimental to the child. *See, e.g., Painter v. Bannister*, 258 Iowa 1390, 140 N.W.2d 152 (1966), *Guardianship of Phillip B.*, 139 Cal. App. 3d 407, 188 Cal. Rptr. 781 (1983). Under this standard it is not unusual for courts to find that breaking a long-term, stable, parent-child bond between the child and the third-party caretaker will be harmful to the child, at least when expert testimony to this effect is presented. In our case, the expert would testify that the strength of Daughter's attachment to Caretaker means that a disruption would be harmful to her psychologically. This might be sufficient to overcome the preference for Mother. Daughter has lived four of her five years with Caretaker (almost her entire life), and has seen her mother only occasionally. For courts less focused on parental rights, these would be critical facts. *See, e.g., Ortner v. Pitt*, 187 W. Va. 494, 419 S.E.2d 907 (1992).

A minority of states use the best interest test in all custody contests including those between parents and nonparents. *See, e.g., In re Custody of C.C.R.S.*, 892 P.2d 246 (Colo. 1995)(en banc). Under the best interest test, a court would probably award custody to Caretaker because she has become Daughter's psychological mother.

An examinee might receive extra credit for noting that awarding custody to Caretaker might raise a question of unconstitutional interference with Mother's parental rights. *See Troxel v. Granville*, 530 U.S. 57 (2000). Although *Troxel* concerned visitation and not custody (see Point Three), the plurality in *Troxel* held that there is a presumption that fit parents act in their children's best interest, and that courts must award "special weight" to a parent's decisions. Prior to *Troxel*, the *C.C.R.S.* court rejected the argument that the best interest standard violates parents' constitutional rights. The court reasoned that the Supreme Court cases on parental rights, *e.g., Santosky v. Kramer*, 455 U.S. 745 (1982); *Lassiter v. Dept. of Soc. Serv.*, 452 U.S. 18 (1981), all concerned permanent termination of parental status. A custody ruling, the court said, is less drastic and therefore constitutionally permissible when supported by good reasons (the

child's best interest). Other courts, however, might find that the best interest standard unconstitutionally infringes on parental rights if it denies parental custody in favor of a nonparent in cases where the parent is legally "fit." *See Troxel v. Granville*, 530 U.S. 57 (2000).

Point Three (15-25%)

In most states, a court cannot award visitation rights to a third party without statutory authority, but in a minority of states, courts may make such an award if it is in the child's best interest, at least to parties who have stood in loco parentis to the child.

In some states, statutes authorize courts to order visitation for a nonparent who has a substantial relationship with a child if visitation is in the child's best interest. *E.g.*, Or. Rev. Stat. § 109.119; Cal. Fam. Code § 3100(a); Alaska Stat. § 25.24.150(a). In the absence of such a statute, courts generally lack jurisdiction to enter such orders because they are inconsistent with the parents' custodial rights, which include determining with whom a child will associate. *See Troxel v. Granville*, 530 U.S. 57 (2000). Some courts, however, have held that they have inherent authority to make visitation orders in a child's best interest. *See, e.g., Spells v. Spells*, 250 Pa. Super. 168, 378 A.2d 879 (1977)(awarding visitation to a former stepparent); *Simpson v. Simpson*, 586 S.W.2d 33 (Ky. 1979)(adopting the in loco parentis approach in holding that visitation with a surrogate parent may be in the child's best interest); *Gribble v. Gribble*, 583 P.2d 64 (Utah 1978); *Rhinehart v. Nowlin*, 111 N.M. 319, 323, 805 P.2d 88, 92 (1990)(holding that the trial courts are given "exclusive jurisdiction of all matters relating to the guardianship, care, custody, maintenance and education of the children," which includes "the granting of visitation rights to a person or persons who the trial court determines are significant and important to the welfare of the children" (emphasis in original)); *Looper v. McManus*, 581 P.2d 487 (Okla. App. 1978); *Wills v. Wills*, 399 So. 2d 1130 (Fla. App. 1981); *Evans v. Evans*, 302 Md. 334, 488 A.2d 157 (1985).

If a court had the authority to grant nonparental visitation, the facts of this case might support such an order. Arguably, it would be in Daughter's best interest to continue visiting Caretaker, rather than having their relationship abruptly terminated. A court must, however, give "special weight" to Mother's opposition. *See Troxel v. Granville*, 530 U.S. 57 (2000). Moreover, the court might conclude that it would be better not to allow visitation if it found that Daughter would be adversely affected by the animosity between Caretaker and Mother.

NOTE: *Troxel* does not affect the outcome of this question, as it is distinguishable from the facts here. In *Troxel*, grandparents who never had custody of the grandchildren, sought visitation contrary to the wishes of the children's custodial parent. Here, Caretaker had custody of Daughter for most of Daughter's life prior to bringing her petition. In these circumstances, the court would most likely find that granting Caretaker visitation rights would not violate the mother's constitutional rights.

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure IV.F, IV.D)

ANALYSIS

Legal Problems:

- (1) Did the federal district court abuse its discretion when it ordered Bus to participate in settlement discussions and cited it for contempt for violating that order?
- (2)(a) What standard governs a motion to amend pleadings and to amend a pretrial order to allow a litigant to introduce a new issue during trial?
- (2)(b) Should a party be permitted to amend a pretrial order to introduce evidence that the party did not mention or disclose during discovery or the pretrial conference?

DISCUSSION

Point One (35-45%)

A federal district judge has explicit authority under Fed. R. Civ. P. 16 to order litigants to participate in settlement discussions, although sanctions to compel participation should be used with caution.

Until the 1993 amendments of Rule 16 of the Federal Rules of Civil Procedure, the question of whether federal courts could order litigants to participate in settlement talks was in dispute. *See, e.g., G. Heileman Brewing Co. v. Joseph Oat Corp.*, 871 F.2d 648 (7th Cir. 1989)(en banc 6-5 split decision)(holding that district judges have inherent authority to order represented parties to appear at pretrial settlement conferences); C.A. Wright, A.R. Miller, M.K. Kane, *FEDERAL PRACTICE AND PROCEDURE* § 1525.1 (1990 & 2000 Supp.). In the 1993 amendments to Rule 16, the drafters added the following language to Rule 16(c):

If appropriate, the court may require that a party or its representative be present or reasonably available by telephone in order to consider possible settlement of the dispute.

As explained in the Advisory Committee Notes, the change was intended, in part, to make it clear that courts may issue orders designed to facilitate settlement. There is, therefore, no question that the court had authority to require a corporate representative of Bus to be present or available for settlement discussions.

The judge also had authority to hold Bus in contempt for failing to attend the conference. Rule 16(f) explicitly provides that “if no appearance is made on behalf of a party at a scheduling or pretrial conference . . . , or if a party or a party’s attorney fails to participate in good faith, the judge, upon motion or the judge’s own initiative, may make such orders with regard thereto as are just, and among others, any of the orders provided for in Rule 37(b)(2)(B),(C),(D).” Rule 37(b)(2)(D) permits the court to treat “as a contempt of court the failure to obey any orders.”

Because Bus failed to attend the conference and failed to participate in settlement negotiations in good faith, the court did not abuse its discretion under Rules 16 and 37 by holding Bus in contempt.

The Advisory Committee Notes to Rule 16 caution that settlement talks will be unproductive if a party is uncooperative. Bus, then, has a reasonable argument on appeal that the district judge should not have imposed the contempt sanction once Bus's counsel made it clear that Bus was recalcitrant about settlement and that discussions would be pointless. It is not likely, however, that the district court's decision was an abuse of discretion sufficient to warrant reversal. There is no evidence that the order for party participation imposed great hardship on Bus, and the court may have believed that Bus's recalcitrance was merely posturing that could be overcome by serious discussion. Thus, although a case for reversal can be made, it does not seem likely to succeed on these facts.

Point Two (a)(45-55%)

Under Rule 16, a final pretrial order may be modified only to prevent manifest injustice. That standard supersedes the more liberal policy governing amendment of pleadings under Rule 15.

In the fact pattern, the defendant has sought to introduce the issue of a "waiver of liability" at trial, without having raised that issue in the pleadings or having included it in the pretrial order. Ordinarily, when evidence is objected to at trial on the ground that it is not within those issues raised by the pleadings, Rule 15(b) authorizes the court to allow an amendment of the pleadings at trial and directs the court to "do so freely when the presentation of the merits of the action will be subserved thereby and the objecting party fails to satisfy the court that the admission of such evidence would prejudice the party in maintaining the party's action or defense upon the merits." An amendment allowing Bus to raise the waiver as a defense would subserve the presentation of the merits. Any prejudice that Victim might suffer presumably could be minimized by granting an extension to permit Victim to meet the new evidence. Thus, an examination of Rule 15(b) alone suggests that the court abused its discretion in declining to permit Bus to amend its answer and to offer the ticket stub at trial.

But Rule 15(b) cannot be read in a vacuum. Under Rule 16(e) of the Federal Rules of Civil Procedure, "[t]he order following a final pretrial conference shall be modified only to prevent manifest injustice." According to the Advisory Committee Notes, pretrial orders should not be changed lightly, but total inflexibility is undesirable. In determining whether to admit evidence and to allow issues that were not identified in the pretrial order, the courts have discretion to consider such factors as the prejudice to the opposing party, the extent to which introduction of the new evidence would disrupt the orderly presentation of the trial, and the possible bad faith of the party seeking to disregard the pretrial order. *See, e.g., Morfeld v. Kehm*, 803 F.2d 1452 (8th Cir. 1986); C.A. Wright, A. R. Miller, M.K. Kane, *FEDERAL PRACTICE AND PROCEDURE* § 1527 (1990 & 2000 Supp.). Thus, Rule 16 imposes a heavy burden on a party seeking to amend a pretrial order, but the trial court has such discretion when the danger of prejudice is slight and the failure to amend might result in an injustice. On the other hand, if the evidence or issue was within the knowledge of the party seeking modification at the time of the pretrial conference, the argument for amending the order is considerably weakened. *Id.*

On the given facts, Bus does not have a strong argument that the trial court abused its discretion in barring introduction of the evidence of a waiver of liability. It is difficult to imagine that “manifest injustice” would result from denying Bus the opportunity to present evidence on a defense that the court could reasonably conclude has been available to it from the beginning. Bus likely knew that the terms of its ticket included a waiver. It apparently had the ticket stub in its possession throughout the proceedings. Moreover, introduction of the new issue of waiver would probably prejudice Victim unless a continuance were granted, and that would result in trial delay. In short, any harm caused to Bus by restricting it to the evidence and claims allowed by the pretrial order does not appear to be a “manifest injustice.”

How should one resolve the tension between Rule 15(b), on the one hand, and Rule 16(e), on the other? It appears that the Rule 16(e) amendment standard should apply because, according to the Rule itself, the pretrial order “shall control the subsequent course of the action.” Fed. R. Civ. P. 16(e). One should note, however, that “several courts have permitted pretrial orders to be amended by concluding that Rule 16 must be read in conjunction with Rule 15(b).” 6A C. A. Wright, A. R. Miller & M. K. Kane, *FEDERAL PRACTICE AND PROCEDURE* § 1527 at 290 (1990); *see, e.g., Phaneuf v. Tenneco, Inc.*, 938 F. Supp. 112 (N.D.N.Y. 1996). Thus, while it appears that the district court did not abuse its discretion in declining to amend the final pretrial order, one could make a reasonable argument that the more liberal Rule 15(b) standard should have been applied.

However, even if that argument is successful, it appears that the court properly barred Bus from offering the ticket stub into evidence as a sanction for failing to produce it pursuant to Rule 26(a)(1). *See* Point Two (b), *infra*.

Point Two (b)(5-15%)

If a party fails to produce a document that should have been disclosed under the mandatory disclosure provisions of the federal discovery rules, the party ordinarily will not be permitted to use the document as evidence at trial.

Bus’s failure to disclose the ticket stub pursuant to its mandatory disclosure obligation provides an additional reason for the court to bar introduction of the evidence. Under Rule 26(a), a party must provide a copy or description of “all documents . . . that are relevant to disputed facts alleged with particularity in the pleadings.” Rule 26(a)(1)(B), Fed. R. Civ. P. Here, the waiver of liability contained on the tour ticket is relevant because it would tend to defeat Victim’s claim for recovery. The trial court’s decision to prevent Bus from using the evidence is an appropriate sanction for non-disclosure of the ticket. “A party that without substantial justification fails to disclose information required by Rule 26(a) . . . shall not, unless such failure is harmless, be permitted to use [such information] as evidence at a trial.” Rule 37(c)(1), Fed. R. Civ. P.

TRUSTS ANALYSIS

(Trusts IE, I.I)

ANALYSIS

Legal Problems:

- (1) Can judgment claims against the income beneficiary for his failure to pay debts be paid by a trustee to the judgment creditor from either trust income or principal under these facts?
- (2) Can claims against the income beneficiary of a trust for unpaid alimony be paid by a trustee to the former spouse of the income beneficiary from either trust income or principal under these facts?
- (3) Can the income beneficiary of a trust be compelled to use trust income actually distributed to the beneficiary to pay judgment claims where the trust contains a spendthrift clause?
- (4) Are dividends paid to a trustee in stock, rather than cash, allocable to the income or principal accounts for trust accounting purposes?

DISCUSSION

Point One (30-40%)

Most likely, Creditor will not be able to compel Bank to distribute trust income to it in satisfaction of its claim against Son because the trust instrument includes a spendthrift clause. Creditor also will not be able to compel distributions to it from the principal of the trust because Son is not entitled to any share of trust principal.

The creditors of the beneficiary of a trust have no greater rights in the trust property than the beneficiary has; however, they can have fewer rights. The trust instrument makes no provision for the distribution of trust principal to Son. Accordingly, because he has no right to receive trust principal, his creditors have no right to reach trust principal. If Son's creditors could reach trust principal, they would infringe on the property rights of the remainder beneficiaries of the trust.

Son, on the other hand, is entitled to trust income and, thus, absent a spendthrift clause in the instrument, his creditors would be able to attach that interest. However, if the governing instrument, as here, contains a spendthrift clause prohibiting a beneficiary's creditors from attaching the beneficiary's interest, the beneficiary's creditors usually cannot reach the beneficiary's trust interest in satisfaction of their claims. Most courts uphold spendthrift clauses, at least when applied against the claims of most creditors of a beneficiary, although a minority of states hold that spendthrift clauses are unenforceable. *See generally* George Bogert, TRUSTS § 40 (6th ed. 1987).

In the minority of states that bar the enforcement of spendthrift clauses, Creditor could compel Bank to pay its claim against Son from trust income. However, in the large majority of states that uphold spendthrift clauses, Creditor could not compel payment of the claim from trust income while in the hands of Bank. Creditor stands on a different footing than Wife (See Point Two), and to date no state that generally upholds spendthrift clauses has found a countervailing public policy exception for the kind of claim Creditor has against Son.

Point Two (30-40%)

Wife will not be able to compel distributions to her from the trust principal. Most likely, however, Wife will be able to compel Bank to distribute trust income to her in satisfaction of her unpaid alimony claims against Son notwithstanding the spendthrift clause in the trust.

Wife cannot reach the trust principal because Son has no interest in trust principal. *See* Point One.

However, she may be entitled to distributions from trust income. Even in the large majority of states that uphold spendthrift clauses, if the particular creditor's claim is for unpaid alimony, the policy of effectuating the settlor's intent by generally upholding spendthrift clauses runs afoul of a stronger public policy favoring the payment of alimony and child support. *See, e.g., Bacardi v. White*, 463 So. 2d 218 (Fla. 1985). Today, most state courts hold that the policy favoring the payment of alimony and child support trumps the policy of generally supporting spendthrift clauses. In those states a trust beneficiary is not permitted to enjoy trust income while failing to support his children and former spouse. *See generally* RESTATEMENT (SECOND) OF TRUSTS § 157. Hence, Wife should be able to compel Bank to satisfy her claim for alimony from the trust's income.

In a small minority of states, spendthrift clauses continue to be valid even as against unpaid alimony. *See, e.g., Erickson v. Erickson*, 266 N.W. 161 (Minn. 1936). In such states, Wife could not compel a distribution of trust income in payment of her claim.

Point Three (10-20%)

Son can be compelled to use trust income distributed to him from the trust to pay judgment claims against him even though the trust contains a spendthrift clause.

Spendthrift clauses in a trust do not operate to bar a trust beneficiary's creditors from reaching the distributed income or principal once it has actually been paid to the beneficiary. *See* Bogert, *supra* § 40 at 150. If Grantor had tried to restrain Son's ability to alienate the trust income once distributed to Son, that would have been an invalid restraint on alienation. Thus, once trust income is actually paid to Son, Wife and Creditor are entitled to reach that income in satisfaction of their claims by resorting to the customary legal processes for the enforcement of judgments.

Point Four (10-20%)

Bank should hold the dividend paid in stock as part of the trust principal for ultimate distribution to Son's children when Son dies.

Trusts Analysis

The Uniform Principal and Income Act treats distributions of stock, whether characterized as a stock dividend or as a stock split, as principal. *See* Unif. Prin. Inc. Act § 6(a). The Revised Act adopts the same position. Rev. Unif. Prin. Inc. Act § 401(c)(1).

The Revised Act gives Bank a limited power to allocate the stock dividend between income and principal in cases where the distributing corporation had made no distributions to shareholders except in the form of dividends paid in stock. In such cases, Bank might be justified in allocating some of the stock dividend to income to effectuate Grantor's intent to provide Son with trust income. However, the facts do not support such an allocation in this case.

In the absence of a statute, the law varies. In some states, dividends paid in the stock of the distributing corporation are income; in others, principal. Some states allocate the dividend between income and principal under the so-called "intact value" rule.

CORPORATIONS ANALYSIS

(Corporations V.A)

ANALYSIS

Legal Problems:

- (1) Under what circumstances would Henry, as beneficial owner but not record owner of 20 shares, be entitled to vote at the Acme annual meeting?
- (2) Was there a quorum present for shareholder action at the Acme annual meeting?
- (3) Did Candace, Fran, and David receive sufficient votes to be elected as directors of Acme meeting?

DISCUSSION

Point One (25-35%)

Without having obtained a proxy, Henry was not entitled to vote at the annual meeting because only shareholders of record are entitled to vote.

Generally only shareholders of record are entitled to vote at a meeting of shareholders. *See* Model Bus. Corp. Act § 1.40(22)(1984)(definition of shareholder); Del. Gen. Corp. Law. § 219 (stating that the share ledger is the only evidence as to who are the shareholders entitled to vote, in person or by proxy, at any meeting of shareholders). A mere beneficial owner of shares is not entitled to vote at a meeting of shareholders. *Salgo v. Matthews*, 497 S.W.2d 620, 628 (Tex. Civ. App. 1973)(stating that beneficial ownership of shares does not carry with it the right to vote without having the shares transferred on the corporate books).

Where corporate shares are transferred between the record date for a meeting of shareholders and the date of the meeting, the transferee is not entitled to vote the shares at the meeting. *Wick v. Youngstown Sheet & Tube Co.*, 46 Ohio App. 253, 188 N.E. 514, 517-18 (1932)(holding that election inspectors did not err in permitting voting of shares by shareholders as of record date, regardless of subsequent transfers of the shares), *petition dismissed*, 127 Ohio St. 379, 189 N.E. 4 (1933). The corporation is not required to determine the “true” owners of corporate shares on the day of the meeting. Rather, the corporation is entitled to rely on its share ledger as of the record date for the meeting in determining who is entitled to vote.

The establishment of a record date is for the convenience of the corporation. *McDonough v. Foundation Co.*, 7 Misc. 2d 571, 155 N.Y.S.2d 67, 68 (1956). A transferee of shares after the record date who wants to vote at a scheduled shareholder meeting should obtain a proxy from his or her transferor to vote the shares. *Wick*, 188 N.E. at 518.

Point Two (25-35%)

A quorum was present for shareholder action at the Acme annual meeting.

Neither the articles of incorporation nor the bylaws of Acme contain a provision relating to the quorum for a meeting of shareholders. Consequently, a quorum is a majority of the votes entitled to be cast by the voting group. *See* Model Bus. Corp. Act § 7.25(a)(1984); Del. Gen. Corp. Law § 216. The voting group in this case consisted of all the common shareholders of Acme.

A shareholder may vote his or her shares either in person or by proxy. Candace and Fran were present at the meeting in person. Brenda granted a proxy appointment to George to vote her shares, as is the right of a shareholder, and, thus, was present by proxy. A proxy should be accepted as valid if on its face it appears to be “free from all reasonable grounds of suspicion of its genuineness and authenticity.” *In re Election of Directors of the St. Lawrence Steamboat Co.*, 44 N.L.J. 529, 534 (N.J. Sup. Ct. 1882). The facts do not suggest that the proxy from Brenda was suspicious on its face. Consequently, 60 shares entitled to vote were present at the annual meeting of Acme. Since, as discussed above, Henry (as a mere beneficial owner) was not entitled to vote, his shares are not counted as present for quorum purposes.

There were 100 shares entitled to vote at the Acme annual meeting. A majority of 100 is 51. Since, as discussed above, there were 60 shares entitled to vote present at the Acme annual meeting, a quorum was present for shareholder action even though only two of the five shareholders owning only 40 of the 100 shares were physically present at the meeting.

Point Three (25-35%)

Candace, Fran, and David each received sufficient votes to be elected as directors at the Acme annual meeting.

In most states the election of directors requires only a plurality vote of the shares entitled to vote at a meeting at which a quorum is present. *See* Model Bus. Corp. Act § 7.28(a)(1984); Del. Gen. Corp. Act § 216(2). As discussed above, a quorum was present at the Acme annual meeting.

The plurality vote requirement for directors simply means “that the individuals with the largest number of votes are elected as directors up to the maximum number of directors to be chosen at the election.” Model Bus. Corp. Act Ann. § 7.28 Official Comment (3rd ed. 1996). Three directors were to be elected at the Acme annual meeting of shareholders. Candace, Fran, and David each received 40 votes, which was more than any other candidates received. George, Brenda, and Henry only received 20 votes each. Consequently, Candace, Fran, and David were elected as directors.

In a minority of states, directors must be elected by a majority of the shares entitled to vote at a meeting of shareholders at which a quorum is present. Model Bus. Corp. Act Ann. § 7.28 annot. (3rd ed. 1996). A majority of the 60 shares present and entitled to vote was 31. (As discussed above, Henry was not entitled to vote at the meeting.) Since 40 shares voted for the election of Candace, Fran, and David, they received enough votes to be elected as directors even in those few states requiring a majority vote.

In voting his or her shares, each shareholder can cast no more than 20 votes for each directorship to be filled unless cumulative voting is authorized. If cumulative voting is authorized (which it is not here), then each shareholder has a number of votes equal to the number of shares owned

times the number of directorships to be filled and the shareholder can allocate those votes among any of the persons running for director.

July 2001 MEE

► *ANALYSES*

*Agency & Partnership
Trusts*

Secured Transactions

Decedents' Estates

Family Law

Commercial Paper/Agency

Federal Civil Procedure

AGENCY & PARTNERSHIP ANALYSIS

(Agency & Partnership II, IV)

ANALYSIS

Legal Problems:

- (1) Is a principal bound when an agent who has actual authority enters into an obligation apparently for the benefit of the principal but in fact for the benefit of a third party?
- (2) Is a principal bound when an agent who has actual authority enters into an obligation in violation of an undisclosed limitation placed on the agent's authority by the principal?
- (3) Is a principal bound when an agent whose actual authority has been terminated but who continues to have apparent authority enters into an obligation on behalf of the principal?

DISCUSSION

Point One (25-35%)

Principal is liable to Bellseller for the church bell. Principal is bound by Agent's purchase of the church bell apparently on Principal's behalf, even though Agent was in fact operating on Greta's behalf, since Bellseller was unaware of that fact.

There is no doubt that Principal is liable. However, different jurisdictions are likely to reach this result based on different theories.

First, some jurisdictions would conclude that Agent had actual authority to bind Principal to the contract with Bellseller because Agent was expressly authorized by Principal to purchase the bell and the price that Agent agreed to pay was within the range authorized by Principal. Moreover, because the contract entered into by Agent disclosed that Principal was Agent's principal, Bellseller knew that Agent was acting as agent for a third party. This makes Principal a disclosed principal who is "subject to liability upon a contract purported to be made on his account by an agent authorized to make it for the principal's benefit, *although the agent acts for his own or another's improper purposes*, unless the [third] party has notice that the agent is not acting for the principal's benefit." RESTATEMENT (SECOND) OF AGENCY § 165. *See also U.S. Fidelity & Guaranty Co. v. Anderson Constr. Co.*, 260 F.2d 172 (9th Cir. 1958). Here, Bellseller had no knowledge that Agent was not acting for Principal's benefit, and as a result, Principal is liable to Bellseller for the price of the church bell. (In some jurisdictions, this same reasoning would be used to hold Principal liable on an "inherent authority" rationale. *See* Comment a to RESTATEMENT (SECOND) OF AGENCY § 165.) Agent, on the other hand, could be liable to Principal for breach of fiduciary duty.

Other jurisdictions would conclude that Agent did not have actual authority. Agent did not make the purchase for Principal, he made the purchase for Greta and his act of *purchasing the bell for Greta* was NOT within the actual authority given by Principal: Principal only authorized agent to make the purchase *for the benefit of Principal*. See Draft, RESTATEMENT (THIRD) OF AGENCY § 2.01, comment e (an “act that would be within the agent’s actual authority had the agent acted to serve the interests of the principal . . . falls outside actual authority [if] the agent acted to serve the agent’s own purposes or other improper purposes.”) Thus, although he purported to be acting for Principal, Agent probably lacked actual authority *to make this purchase for Greta*, though he would have had authority to purchase for Principal. Consequently, Principal would probably not be bound simply on the basis of actual authority.

Nevertheless, jurisdictions that conclude that Agent lacked actual authority would probably also conclude that Agent had *apparent* authority to make this purchase. Apparent authority is created “by written or spoken words or any other conduct of the principal which, reasonably interpreted, causes the third person to believe that the principal consents to have the act done on his behalf by the person purporting to act for him.” See RESTATEMENT (SECOND) OF AGENCY § 27. See also *Mohr v. State Bank of Stanley*, 241 Kan. 42, 734 P.2d 1071, 1076 (1987); *Lewis v. Washington Metro. Area Transit Auth.*, 463 A.2d 666 (D.C. 1983). The principal must “be responsible for the information which comes to the mind of the third person,” but this can occur if the principal provides “documents or other indicia of authority” to the agent that are subsequently shown to the third party. RESTATEMENT (SECOND) OF AGENCY § 27, comment a.

In this case, Principal provided Agent with written credentials which, when they were shown to Bellseller, caused Bellseller to believe that Agent was authorized to purchase the bell on behalf of Principal. Agent then purported to act within the scope of this apparent authority, and Bellseller believed him to be so acting. Consequently, Principal is liable for the contract made by Agent within the scope of his apparent authority. See RESTATEMENT (SECOND) OF AGENCY § 159.

In any event, the basic justification for imposing liability on Principal is simply that Principal created a situation where Bellseller reasonably relied on Agent’s claims to be acting for Principal. Agency law typically protects third parties who act in reliance on appearances created by a purported principal, and a court is likely to protect Bellseller for this reason, whether the result is explained on grounds of apparent authority, inherent authority, or estoppel. See RESTATEMENT (SECOND) OF AGENCY § 8, comments d, e & f; § 8A.

Point Two (25-35%)

Agent acted with actual authority to purchase the book, and with apparent authority because Tomeseller was unaware of Principal’s price limitation. Therefore, Principal is liable even though Agent exceeded the terms of his authorization.

Principal specifically authorized Agent to buy the book, so Agent had actual authority to purchase the book on Principal’s behalf. RESTATEMENT (SECOND) OF AGENCY § 26. However, Agent exceeded the limitation on price imposed by Principal, and therefore exceeded the scope of his actual authority. Although Agent is liable to Principal for breach of duty to obey instructions, Principal will nevertheless be liable to Tomeseller.

Agent showed the written authorization to Tomeseller, and the purchase contract identified Principal as the principal, so Principal was a disclosed principal, and Agent had apparent authority. Apparent authority is created “by written or spoken words or any other conduct of the principal which, reasonably interpreted, causes the third person to believe that the principal consents to have the act done on his behalf by the person purporting to act for him.” RESTATEMENT (SECOND) OF AGENCY § 27. *See also* *Mohr v. State Bank of Stanley*, 241 Kan. 42, 734 P.2d 1071, 1076 (1987); *Lewis v. Washington Metro. Area Transit Auth.*, 463 A.2d 666 (D.C. 1983). When Agent presented Tomeseller with the written authorization, which did not include the limitation, Tomeseller reasonably understood that Agent was authorized to purchase the book on Principal’s behalf, creating apparent authority on behalf of Agent.

Because the price limitation was not included on the written authorization shown to Tomeseller, she was unaware of the limitation. “A disclosed or partially disclosed principal authorizing an agent to make a contract, but imposing upon him limitations as to incidental terms intended not to be revealed is subject to liability upon a contract made in violation of such limitations with a third person who has no notice of them.” RESTATEMENT (SECOND) OF AGENCY § 160. *See also* *Hunt v. Davis*, 387 So. 2d 209 (Ala. Civ. App. 1980)(holding that secret limitations on an agent’s authority do not bind third parties); *Wittlin v. Giacalone*, 171 F.2d 147 (D.C. Cir. 1948). Therefore, Principal remains liable to Tomeseller for payment of the book.

Point Three (25-30%)

Because Agent was acting with apparent authority, even though Principal had terminated all actual authority, Principal is liable to Lampseller for the purchase of the lamp.

Principal had terminated the agency relationship by delivery of the letter to Agent, so Agent did not have actual authority to buy the lamp. RESTATEMENT (SECOND) OF AGENCY § 119. Agent did, however, continue to have apparent authority. Once apparent authority is created, it can be terminated only when the third party has notice of termination or when the authority is terminated due to impossibility or lack of capacity. Reuschlein & Gregory, *THE LAW OF AGENCY AND PARTNERSHIP* § 46 at 95, (2d ed. 1990); RESTATEMENT (SECOND) OF AGENCY § 125.

When Principal engaged Agent, Principal gave Agent credentials and form contracts used to buy antiques on Principal’s behalf. Agent showed Lampseller the credentials and used Principal’s form to purchase the lamp, so Lampseller could reasonably have understood that Agent had authority from Principal to buy antiques, including the lamp. When Principal entrusted Agent with “indicia of authority,” Principal became obliged to give notice of any termination of that authority to third persons who relied upon Agent’s possession of the credentials. Since Lampseller had no notice that Agent’s credentials were no longer valid, the apparent authority continued as to Lampseller and, as a result, Principal is liable for payment to Lampseller for the \$5,000 purchase price.

TRUSTS & FUTURE INTERESTS ANALYSIS

(Trusts & Future Interests IB, I.C, IF, I.H)

ANALYSIS

Legal Problems:

- (1) Is a promise to create a trust in the future legally enforceable if the promise is supported by consideration?
- (2) Is an oral trust of intangible personal property valid?
- (3) Did the trust terminate at Harry's death because there was then no trustee?
- (4) What is the effect of Wanda's disclaimer of the income interest and should the principal be immediately distributed (a) to Wanda and Charles, as Harry's heirs, (b) to Charles, as the implied remainder beneficiary of the trust, or (c) to Mary and Pat, as remainder beneficiaries of the trust?

DISCUSSION

Point One (30-40%)

Harry's promise to create a trust of property he might inherit from his mother was legally enforceable.

A promise to create a trust in the future is unenforceable unless the promise is supported by consideration sufficient for the formation of a contract. *See generally* SCOTT ON TRUSTS § 30 (4th ed.); Bogert, TRUSTS § 24 (6th ed. 1987). Thus, if Harry had merely promised to create a trust of property he might later inherit from his mother, that promise would be unenforceable. Here, however, Harry's promise was incorporated into a prenuptial agreement in which the promise to create the trust was made in consideration of Wanda's waiver of alimony rights. This waiver is sufficient consideration to support Harry's promise to create the trust in the future, just as it is sufficient to support the validity of the prenuptial agreement.

Point Two (30-40%)

A trust of intangible personal property may be declared orally. No writing is required. Thus, the trust for Wanda was validly created.

In order to create a trust, the grantor must have intended to create the trust and there must be a trust res (property), one or more trust beneficiaries, and a trustee. The intent to create a trust can be found in both the grantor's words and deeds. *See generally* SCOTT ON TRUSTS § 24.2 (4th ed.). Here, the evidence is clear that Harry intended to create a trust.

At the time of the declaration of trust there was also trust property (\$1 million), one or more beneficiaries, and a trustee (Harry). Thus, the only possible remaining issue relating to whether

the trust was validly created is whether an oral declaration of trust is valid. Most states require a writing to create an inter vivos trust of land. At common law, an inter vivos oral trust of personalty was valid. *See* Bogert, *supra* § 21. Generally, state statutes of frauds do not change this common-law rule. Thus, the trust was validly created even though created orally.

Point Three (5-10%)

A trust will not fail for want of a trustee. Thus, even though no trustee is acting at Harry's death, the trust is valid and a court of equity can appoint a successor trustee.

A trust will not fail for want of a trustee. *See generally* Bogert, TRUSTS § 30 (6th ed. 1987). Thus, even if the sole individual acting as trustee dies, the trust does not terminate if the grantor intended the trust to continue beyond the death of the trustee. *Id.* Rather, the court of equity having jurisdiction over the trust can appoint another to act as a successor trustee. *Id.* Here, Harry's intent is clear—that the trust continue for Wanda's lifetime, not that the trust terminate at his death. This intent is evidenced not only by the provision that Wanda's income interest terminates at her death but also by the language of the orally declared trust specifically contemplating the appointment of a successor trustee. Thus, it is entirely appropriate for the court to appoint a successor trustee.

If the trust terminates as a result of Wanda's disclaimer (See Point Four), it would still be necessary to appoint a successor trustee to prepare the necessary accounting and distribute the trust principal to the correct beneficiaries. However, a court may simply direct the personal representative of Harry's estate to assume these duties.

Point Four (30-40%)

Because Wanda has validly disclaimed her income interest in the trust, it is appropriate to accelerate the distribution of the trust principal under these facts and make an immediate distribution to the persons entitled to the trust principal without awaiting Wanda's death. However, it is unclear whether there is an implied gift to Harry's issue (Charles in this case). If so, Charles is entitled to the trust principal. If not, the trust principal is distributable to Harry's heirs (i.e., one-third to Wanda and two-thirds to Charles).

Under the doctrine of acceleration, if the income beneficiary of a trust disclaims his or her interest, the trust principal becomes immediately distributable to the presumptive remainder beneficiaries of the trust *provided no one would be harmed by making a distribution to them earlier than it would have been made had the income beneficiary not disclaimed*. *See generally* *Ohio National Bank of Columbus v. Adair*, 54 Ohio St. 2d 26, 374 N.E.2d 415 (1978). *See also* Simes, THE LAW OF FUTURE INTERESTS § 110. For example, a remainder might not accelerate if to do so would result in the class gift to the remainder beneficiaries closing earlier than it otherwise would.

In this case, however, no one would be harmed by an acceleration because the identity of the persons entitled to the trust principal is not dependent on whether the distribution of the remainder accelerates or must await the death of Wanda. Rather, the ultimate identity of the takers of the trust principal depends on whether there is an implied gift to Harry's issue who survived Harry. At the time the trust was created, Harry clearly specified what was to happen if

he died without issue. He stated that in such case the principal should be distributed to his nieces and nephews—Mary and Pat. Thus, their interest could vest only if Harry died without issue. Because Harry died with issue, the gift to the nieces and nephews clearly fails.

Harry, however, failed to state who would take the trust property under the circumstances that actually occurred—if he died *with* issue. In such a case, the courts have split between inferring a gift to the issue (i.e., construing the trust to mean “upon [Wanda’s] death, to Harry’s issue but if Harry dies without issue, to Harry’s surviving nieces and nephews”) or finding that the gift of the remainder interest failed, resulting in the trust property reverting to the grantor’s estate as undisposed of property. Theoretically, the controlling principle in construing the ambiguous instrument is to give effect to Harry’s intent. Often, however, the grantor’s intent is not readily determinable.

Some courts in these cases infer a gift to issue because “it is difficult to see why the [grantor] has made no provision for [his] issue although he has expressly provided for [his] death without issue.” Simes, *supra* § 100. Thus, the court assumes that the intended gift to issue was inadvertently omitted and, therefore, constructs the gift to accomplish the grantor’s presumed intent.

Other courts hold that the trust property is distributed to the successors of the grantor’s estate on the theory that the grantor retained a reversion and that to construct a gift to issue is tantamount to writing a trust for the grantor and making a gift that is wholly speculative. If the trust property is distributable through Harry’s estate by way of a reversion, it passes to his heirs via intestate succession, and it is distributable one-third to Wanda and two-thirds to Charles. Because Wanda’s disclaimer was limited to her interest in the trust property, the disclaimer did not apply to any property distributable to her as part of Harry’s estate.

SECURED TRANSACTIONS ANALYSIS

(Secured Transactions IV.C, IV.F, III.C, IB)

ANALYSIS

Legal Problems:

- (1) What is the relative priority of the security interests of Arcade's three creditors?
- (2) Does Oscar, as a buyer in the ordinary course of business, take free of security interests created by Arcade?

DISCUSSION

Point One (60-70%)

Under the first-to-file-or-perfect rule, Bank would have priority over Finance and Supplier. However, Supplier's security interest qualifies for priority because it is a purchase money security interest (PMSI) and Supplier complied with the requirements of UCC § 9-312(3) [Revised 9-324(b)]. Accordingly, Supplier has priority, followed by Bank, then Finance.

As between secured creditors, the general priority rule is UCC § 9-312(5)(a) [Rev. 9-322(a)(1)] — the first to file or perfect has priority. Bank filed on February 12 although it did not perfect until July 1 when Arcade signed a security agreement on Bank's behalf. *See* UCC § 9-203, UCC § 9-303 [Rev. 9-308] (noting that perfection requires attachment and that attachment typically requires a signed security agreement). Pursuant to the general rule, however, February 12 is Bank's priority date.

Finance filed and perfected on June 5 since its security interest had previously attached (i.e., on June 1, Arcade had rights in its existing inventory, Finance gave value through its loan, and Arcade signed a security agreement). *See* UCC § 9-203, UCC § 9-303 [Rev. 9-308]. Thus, June 5 is Finance's priority date. Bank, therefore, beats Finance in the remaining inventory. (Both have an after-acquired property clause in their security agreements that gives rise to a security interest in any new inventory that Arcade purchases.)

Supplier filed and perfected on August 21, assuming that Arcade had some rights in the collateral as of the purchase date of August 20. For example, the actual pinball machines that were the subject of the sale were identified on that date. *See* UCC § 2-501. In any event, perfection would occur no later than possession by Arcade on August 31. *See* UCC § 9-201, 9-203. Pursuant to the general rule, Supplier's priority is behind both Bank and Finance. Supplier, however, may take advantage of an exception to the general rule for purchase money security interests (PMSIs) in inventory. Section 9-312(3) of the UCC [Rev. 9-324(b)] states that a perfected PMSI in inventory has priority over a conflicting security interest in the same inventory if the PMSI is perfected at the time the debtor receives possession of the inventory, and if the conflicting security interest holders receive proper notice within five years before the debtor receives possession of the inventory. *See* UCC § 9-312(3)(a)-(d) [Rev. 9-324(b)(3)].

Supplier did take a PMSI because Supplier took a security interest to secure all or part of the price of the pinball machines that it sold to Arcade. *See* UCC § 9-107(a) [Rev. 9-103]. In addition, it is a PMSI in inventory because Arcade is a seller of pinball arcade games; thus, the machines purchased by Arcade are presumably “held by [Arcade] who holds them for sale . . .” *See* UCC § 9-109(4) [Rev. 9-102(a)(48)] (defining “inventory”). Indeed, the facts of the problem state that the machines were placed in Arcade’s showroom “for sale to customers.” Thus, the pinball machines are properly characterized as “inventory” of Arcade. *See* UCC § 9-109(4) [Rev. 9-102(a)(48)].

As mentioned, Supplier filed and probably perfected on August 21, which indicates that the PMSI was perfected “at the time [Arcade] receive[d] possession of the inventory” on August 31. UCC § 9-312(3)(a) [Rev. 9-324(b)(1)]. Finally, the facts of the problem indicate that “proper notice of [Supplier’s] security interest [was sent] to all relevant creditors, including Bank and Finance,” and that such notice was received before Arcade got possession of the machines on August 31. Thus, the notice requirements of UCC § 9-312(3)(b)-(d) [Rev. 9-324(b)(2)-(4)] are met. (The facts of the problem state that “proper” notice was sent so there is no need to discuss whether the content of the notice was correct.) Because the requirements of UCC § 9-312(3) [Rev. 9-324(b)] are met, Supplier has priority in the pinball machines over both Bank and Finance, as they hold “conflicting security interests” in the same inventory.” UCC § 9-312(3) [Rev. 9-324(b)]. (Note that Bank and Finance hold conflicting security interests because their after-acquired property clauses attached to the pinball machines as soon as Arcade had rights in the collateral, which would be no later than possession on August 31. *See* UCC §§ 9-203, 9-204.)

In summary, therefore, the order of priority in the two remaining pinball machines is (1) Supplier, (2) Bank, and (3) Finance.

Point Two (30-40%)

Because Oscar is a buyer in the ordinary course, he takes free of all security interests created by his seller (Arcade). Thus, Bank, Finance, and Supplier have no security interest to enforce in the pinball machine purchased by Oscar.

The general rule is that security interests are enforceable against purchasers of the collateral. *See* UCC § 9-201. Indeed, in general, security interests continue in collateral notwithstanding its sale, exchange, or other disposition. *See* UCC § 9-306(2) [Rev. 9-315(a)(1)]. Under UCC § 9-307(1) [Rev. 9-320(a)], however, a buyer in the ordinary course of business takes free of a security interest created by his seller even if the security interest is perfected and even if the buyer knows of the security interest. A buyer in the ordinary course means a person who, in good faith and without knowledge that the sale to him is in violation of the security interest of a third party, buys in the ordinary course from a person in the business of selling goods of that kind. *See* UCC § 1-201(9). Arcade is in the business of selling pinball arcade games. There are no facts suggesting that Oscar acted in bad faith. In addition, the problem states that Oscar “had no actual knowledge” of any security interests in the pinball machine he purchased.

Because Oscar’s purchase satisfies the requirements of UCC § 9-307(1) [Rev. 9-320(a)], Oscar takes the pinball machine free of all three security interests. Bank, Finance, and Supplier have no security interest to enforce in the pinball machine purchased by Oscar.

DECEDENTS' ESTATES ANALYSIS

(Decedents' Estates II.D, II.F)

ANALYSIS

Legal Problems:

- (1) Was the bequest of the watch to Ben properly revoked, such that the watch passes to Chris?
- (2) Is Sarah entitled to receive the dining room table, the automobile, or neither?
- (3) Is Nicole entitled to the balance of Testator's tangible personal property under the doctrine of incorporation by reference?
- (4) To whom should the undisposed of property (the \$10,000 bank account) be distributed?

DISCUSSION

Point One (25-30%)

The gift of the watch to Ben was not revoked by either physical act or cancellation. It was revoked, however, by a subsequent will since State A law permits testators to execute holographic wills. Thus, the watch passes to Chris.

State A law permits wills to be completely or partially revoked by the execution of a subsequent will or by physical act or cancellation. In this case, no physical act was done to the face of the will to evidence that either the entire will or any of its provisions were revoked. On the other hand, on the back of the will, Testator, in her own handwriting, stated: "I don't want Ben to have my watch. I want it to go to my first cousin, Chris." Because these words do not come into physical contact with the words of the will, they are not words of revocation. *Thompson v. Royall*, 175 S.E. 748 (Va. 1934). *But see* Unif. Prob. Code § 2-507 (permitting revocation by cancellation even though words of cancellation do not touch words of the will). However, under the laws of State A, these words can be construed as a holographic codicil.

In some states, the handwriting on the back of the will would not be a valid holographic will because of underlying state statutes requiring holographic wills to be signed. *See, e.g.*, Unif. Prob. Code § 2-502(b)(requiring holographic wills to be signed). State A, however, has no signature requirement.

A holographic will can revoke an earlier typewritten will. *See generally Mangum v. Fuller*, 797 S.W.2d 452 (Ark. 1990). If the subsequently executed holographic will only disposes of a part of the estate disposed of in the typewritten will, then the typewritten will is revoked only to the extent that it is inconsistent with the provisions of the holographic will. *See Gilbert v. Gilbert*, 652 S.W.2d 663 (Ky. Ct. App. 1983). *See also* Unif. Prob. Code § 2-507(a)(1)(partial revocation by inconsistency). Here, the holographic will is inconsistent with the typewritten will only to the

extent that it leaves the watch to Chris, rather than Ben. Thus, no other disposition in the typewritten will is revoked.

Point Two (35-50%)

The bequest of the dining room table to Sarah was revoked by physical act. Testator revoked the original bequest with the apparent intent of substituting for it a bequest of the automobile. However, the substituted bequest cannot be sustained as a holographic will because it was typewritten. Furthermore, the doctrine of dependent relative revocation is not likely to apply to prevent the bequest of the table from being revoked.

Under State A law, a bequest may be revoked by cancellation if the cancellation is accompanied by an intent to revoke. When a will is found with marks of cancellation upon it (here, the scratches through the phrase “dining room table”), a presumption arises that such marks were made by the testator with the intent to revoke. *See generally* W. McGovern, S. Kurtz, and J. Rein, WILLS, TRUSTS AND ESTATES § 5.2 (1988). Here, no facts suggest that such marks of cancellation could have been done by anyone but Testator and in light of the presumption, such marks were done by the Testator with the intent to revoke. However, typing the word “automobile” above “dining room table” suggests that Testator revoked the bequest of the dining room table in order to substitute for it a bequest of the automobile. Unfortunately, that typed bequest was neither signed nor witnessed and cannot be sustained as a valid holographic codicil because it was not in Testator’s handwriting. Thus, Sarah takes nothing unless the revocation of the bequest of the dining room table can be avoided under the doctrine of dependent relative revocation.

Under the doctrine of dependent relative revocation, a revocation can be deemed conditional on the validity of a subsequently executed will or codicil if that would accomplish the testator’s intent. W. McGovern, S. Kurtz, and J. Rein, WILLS, TRUSTS AND ESTATES § 5.3 (1988). Under this doctrine, if the subsequently executed will is invalid, then the revocation which was dependent upon it is ignored. *Id.* Typically, however, courts apply that doctrine only when there is a sufficiently close identity between the bequest that was revoked and the bequest that was expressed in the invalid subsequent will. Here, there is no such close identity between a dining room table and an automobile, and accordingly a court is unlikely to apply the doctrine of dependent relative revocation to prevent the bequest of the dining room table from being revoked. If, on the other hand, Sarah could find evidence that Testator’s revocation was conditional, then she would be entitled to the dining room table. See Point Three for disposition of the automobile and the dining room table.

Point Three (15-20%)

Under the doctrine of incorporation by reference, Nicole should be entitled to the balance of Testator’s tangible personal property.

Under the doctrine of incorporation by reference, a will may refer to an unattested written document and incorporate its terms into the will so long as that written document was in existence at the time the will was signed and the evidence is clear that testator intended to incorporate its terms into her will. *See, e.g., Smith v. Weitzel*, 338 S.W.2d 628 (Tenn. Ct. App. 1960); W. McGovern, S. Kurtz, and J. Rein, WILLS, TRUSTS AND ESTATES § 6.3 (1988). *See also*

Unif. Prob. Code § 2-510. Where such a document is incorporated the dispositive provisions in it are given the same effect as if they had been set forth in the duly attested will. Here, the letter referred to in Testator's will was dated May 17, 1997, the day before Testator signed her will. Thus, it was in existence on the date Testator signed the will. Testator's will specifically refers to the letter by date and reflects a clear intent that the disposition in the letter be given effect. Thus, Nicole should be entitled to all of Testator's remaining tangibles, and probably the specific tangibles ineffectively bequeathed to Sarah. *See* Point Two. (This presumes that item three of the will operates like a residuary clause but with respect to the tangibles only.) Some states have statutes that specifically authorize the bequest of tangibles in the manner used here and validate such bequests even if the memo was executed after the will. *See, e.g.,* Unif. Prob. Code § 2-513.

Point Four (15-20%)

The bank account should be distributed to Sarah and Ben as the sole heirs of Testator.

Where a testator's will fails to dispose of all of the testator's property, the undisposed of property passes to the testator's heirs. *See, e.g., Levy v. Hebrew Technical Institute*, 196 So. 2d 225 (Fla. Ct. App. 1967). Typically, the intestacy laws of the states provide that, absent descendants or a spouse, an intestate's property is distributed to (1) parents, (2) the descendants of the parents, (3) more remote ancestors, and (4) their descendants, in that order. Here, Testator's closest living relatives are Sarah and Ben and as such they are equally entitled to all of Testator's property not disposed of by Testator's will.

FAMILY LAW ANALYSIS

(Family Law III.B, III.G, III.H)

ANALYSIS

Legal Problems:

- (1) Is State B required to recognize the child support order of State A?
- (2) Does State B have jurisdiction to modify the child support order?
- (3) When will a court reduce a child support award due to changed circumstances, and can the reduction be made retroactive?
- (4) When will a court increase or extend a spousal support award due to changed circumstances?

DISCUSSION

Point One (20-30%)

State B is required to recognize the child support order of State A.

Under federal law, states are required to give full faith and credit to child support awards from other states. Under 28 U.S.C. § 1738B(a) each state: “(1) shall enforce according to its terms a child support order made consistently with this section by a court of another State.” Section 1738B is known as the Full Faith and Credit for Child Support Orders Act.

Section IV-D of the Social Security Act also requires a state, as a condition of participation in the federally funded child support programs, to have procedures that require that “any payment or installment of support under any child support order . . . [be] . . . entitled as a judgment to full faith and credit in such State and in any other State.” 42 U.S.C. § 666(a)(9). This amendment to the Social Security Act may also be called The Child Support Enforcement Act or the IV-D Program.

Hence, Father cannot evade the State A child support order by moving to State B. State B must recognize and enforce the State A order. It is no longer the case that child support orders are not entitled to full faith and credit.

The same result is mandated by the Uniform Interstate Family Support Act (UIFSA), legislation which states are required to adopt under federal law. Section IV-D of the Social Security Act requires that a state, as a condition of participation in the federally funded child support programs, have UIFSA in effect. 42 U.S.C. § 666(f). UIFSA provides a simple procedure for the registration of the child support order of another state. The order is then enforced in the same manner as an order issued by the registering state. UIFSA § 603. Mother can use UIFSA to enforce the State A order in State B.

Point Two (10-20%)

State B does not have jurisdiction to modify the child support order.

State B does not have jurisdiction to modify the State A child support order. Under federal law, each state “shall not seek or make a modification of . . . [a child support] order except in accordance with subsection [](e).” 28 U.S.C. § 1738B(a). (Full Faith and Credit for Child Support Orders Act). Subsection (e) of the Full Faith and Credit for Child Support Orders Act prohibits the modification of child support orders issued by a court with continuing exclusive jurisdiction, unless no contestant or child resides there, or unless each contestant has agreed in writing to allow another state to assert jurisdiction. Those requirements are not met here because Mother and children still reside in State A, and Mother has not consented to State B’s assuming jurisdiction to modify.

This same result is mandated by UIFSA. Section 205 of UIFSA confers continuing, exclusive jurisdiction on the state issuing the child support order unless no litigant or child resides there, or unless each party has consented to another state’s modification jurisdiction. State A continues to have jurisdiction, and State B cannot modify. Section 603(c) of UIFSA requires that states enforce without modification the child support orders of other states.

Point Three (35-45%)

A court will reduce a child support award when there has been a material and substantial change in circumstances; however, such a change in circumstances has not been demonstrated here. Further, a court cannot order a retroactive modification of a child support order.

In most jurisdictions, modifications of child support orders may be made only upon a showing of a substantial and continuing change in circumstances making the prior order unreasonable. Under the Uniform Marriage and Divorce Act (UMDA), modification of a child support order is allowed “only upon a showing of changed circumstances so substantial and continuing as to make the terms unconscionable.” Unif. Marriage and Div. Act § 316(a), 9A U.L.A. 102 (1987). However, modifications based on changed circumstances are allowed in most jurisdictions upon the less stringent showing of a material or substantial change of circumstances, although the burden on the party requesting the modification is still a heavy one. Donald T. Kramer, *LEGAL RIGHTS OF CHILDREN* § 4.07 (2d ed. 1994 and Supp. 1997). Under any standard, however, the changes must be more or less permanent, rather than temporary. *Id.* Although Father has been unemployed for three months, he did receive 50 percent of his annual salary in severance pay and other benefits at the time of his termination. Since his job prospects are good, it is likely that his unemployment will only be temporary. In addition, the stated reasons for Father’s move to State B provide some evidence of bad faith by Father. Therefore, it is unlikely that his child support payment will be reduced at this time. If, however, the court were to reduce Father’s child support obligation, the reduction would be calculated under the state’s child support guidelines and would not likely be the \$1,000 that Father requests. If Father turns out to be unable to find a job after a lengthy period, the court would be more likely to reduce the amount of the payments.

The court could also impute income to Father, based upon his prior employment history, education, and efforts (or lack thereof) to find employment.

Moreover, under UMDA, a modification of support can be made retroactive only from the date of service of the motion to modify on the other party. Unif. Marriage and Div. Act § 316(a), 9A U.L.A. 102 (1987). Here, if the court were able to modify the child support obligation, the modification could only be made retroactive to the date of service on Mother and cannot be made six months retroactive. Therefore, Father will owe the full amount of the child support arrearage, which is \$12,000.

Federal law requires the same result with respect to retroactive modification of child support orders. Section IV-D of the Social Security Act requires a state, as a condition of participation in the federally funded child support programs, to have procedures that require that “any payment or installment of support under any child support order . . . [be] . . . not subject to retroactive modification by such State or by any other State.” 42 U.S.C. § 666(a)(9).

Point Four (25-35%)

An award of spousal support is modifiable only when there has been a substantial change in circumstances.

Modification of spousal support is allowed only upon a showing of a substantial and continuing change in circumstances making the prior order unreasonable. Under UMDA, a modification of spousal support is allowed “only upon a showing of changed circumstances so substantial and continuing as to make the terms unconscionable.” Unif. Marriage and Div. Act § 316(a), 9A U.L.A. 102 (1987). Most jurisdictions are not as stringent as UMDA, but most place a heavy burden on the party requesting the modification (e.g., requiring a “substantial change in circumstances that rendered the original award unreasonable and unfair.” *Hecker v. Hecker*, 568 N.W.2d 705 (Minn. 1997)). Courts consider whether the change in circumstances was anticipated at the time the original award was made and the good faith of the party asking for the modification. *See, e.g., Pope v. Pope*, 559 N.W.2d 192 (Neb. 1997).

A change in the payor’s ability to pay or in the recipient’s needs would be the type of change a court would consider. Mother now has increased need because her income has been reduced by one-fourth. Since her workload includes being the custodial parent of the parties’ two children, it seems very reasonable that she would follow her doctor’s orders not to resume full-time work. Her loss of income was unanticipated and may be permanent. There is no indication of bad faith on her part. Mother presents a sympathetic case for an extension and an upward modification of her maintenance award. However, Father’s circumstances have also changed. His circumstances are discussed under Point Three above.

Overall, it is debatable whether Mother would succeed in having her award increased, particularly in a jurisdiction that took as strong a stand against modification as reflected in UMDA. Although her income has been reduced by one-fourth, there is no indication of other, unexpected expenses. Since her original award was for five years, she will be receiving maintenance for four more years under the original award. Her age, work experience, and duration of the marriage were factors that would have been considered in making the original award and would have tended not to support an award of long-term maintenance since she has been employed, she is not near retirement age, and the marriage was not of extremely long duration. Therefore, it seems unlikely that the court would order an increase in the duration of the maintenance award at this time.

On the other hand, it is possible that the spousal support amount should be increased at this time because of the permanent decrease in her earnings. She seems unable to provide adequate self-support based on the change in her physical condition. It is probably premature, however, to ask for a change in duration.

COMMERCIAL PAPER/AGENCY ANALYSIS

(Commercial Paper IV.E, IV.D, V.A, V.K, VII.A / Agency IV.B)

ANALYSIS

Legal Problems:

- (1) Can Singer recover from Bank Two for conversion on the ground that Bank Two took the instrument with notice of a breach of Agent's fiduciary duty to Singer?
- (2) Was the instrument properly paid by Bank One?
- (3) Was Concert's obligation to Singer discharged by payment to Agent?

DISCUSSION

Point One (45-50%)

Singer may recover from Bank Two for conversion on the ground that because Bank Two took the instrument with notice that Agent had breached her fiduciary duty, Bank Two was not a holder in due course.

The facts state that the check was issued to "Agent, as agent for Singer," and was issued for money owed to Singer by Concert. As between Singer and Agent, Singer is the owner of the check, and is the principal in a principal-agent relationship with Agent. In UCC terms, Singer is a "represented person" (UCC § 3-307(a)(2)) and Agent is a "fiduciary" (UCC § 3-307(a)(1)).

When Agent convinced Bank Two to deposit the check into Agent's personal account and use the proceeds for Agent's personal benefit, Agent violated her fiduciary duty to Singer and misappropriated Singer's property. This misappropriation of the Concert check gives rise to a claim by Singer to the instrument or its proceeds based on Agent's breach of fiduciary duty. UCC §§ 3-306, 3-307(b)(iii).

Singer's claim to the instrument and its proceeds may be asserted against Agent and against subsequent takers of the instrument. Therefore, because Bank Two also misused Singer's property (by receiving payment of the check and using the proceeds to cover Agent's overdrafts and increase her personal account balance), Bank Two may be liable for converting Singer's property—the check and its proceeds. *See* UCC § 3-420. But, if Bank Two is a holder in due course, it takes free of such claim UCC § 3-306. If Bank Two is not a holder in due course, it will be subject to Singer's claim. UCC § 3-306.

To be a holder in due course, Bank Two must be a holder, and it must have taken the check in good faith, for value and without notice of any claims or defenses. In this case, Bank Two, as the depository bank of a check bearing a proper restrictive endorsement (UCC § 3-206 (c)), is a holder and it has given value, the extinguishment of the overdraft (UCC § 3-303(a)(3)). Bank Two appears to have acted in good faith, though it could be argued that the Bank Two manager failed to follow "reasonable commercial standards of fair dealing," when he allowed Agent to

deposit the check into Agent's personal account, at clear variance with past practice with regard to checks written to Agent as Singer's agent. The more powerful argument for Singer, however, is that Bank Two had notice of Singer's claim to the instrument and for that reason could not be a holder in due course.

Section 3-307(b)(1) of the UCC provides expressly that a taker's "notice of a breach of fiduciary duty" by a fiduciary is "notice of the claim of the represented person." Thus, to the extent that Bank Two had notice of a breach of fiduciary duty, it cannot be a holder in due course because it will be treated as having notice of Singer's claim to the check.

To be charged with *notice* under UCC § 3-307(b)(1), the taker, here Manager on behalf of Bank Two, must have had *knowledge* of two facts. First, the taker must have knowledge of the fiduciary status of the fiduciary. UCC § 9-307(b)(ii). Second, the taker must know that the check payable to the fiduciary is being taken in payment of a personal debt of the fiduciary (UCC § 9-307(b)(2)(i)), or deposited to an account other than the account of the fiduciary, as a fiduciary. UCC § 9-307(b)(2)(iii). Manager clearly knew that Agent was the fiduciary of Singer, given that the check was payable to Agent in her fiduciary capacity and Manager knew that Agent had deposited similar checks in Singer's account. Manager also knew that the check was being deposited to extinguish the personal overdraft of Agent and was deposited in Agent's personal account. Thus, Bank Two had notice of the breach of the fiduciary duty of Agent and therefore had notice of the claim of the represented person UCC § 3-307(b)(1). Accordingly, Bank Two is precluded from holder in due course status because of such notice (UCC § 3-302(a)(2)(v)) and is, therefore, subject to the claim of Singer. UCC §§ 3-306, 3-420.

The check from Concert has long since been negotiated and paid by Bank One, so Singer no longer has any claim to the instrument. He does, however, have a claim to recover the proceeds against Bank Two as a converter of the instrument and its proceeds. Under UCC § 3-420, "The law applicable to conversion of personal property applies to instruments." The measure of Singer's recovery is presumed to be the amount payable on the instrument, here \$20,000.

Point Two (25-35%)

Singer has no rights against Bank One because Bank One had no notice of Agent's breach of fiduciary duty or that the check was taken by Bank Two for Agent's debt.

Because the check was issued payable to the order of Agent and it was indorsed with Agent's signature, there was no forged indorsement. UCC § 3-110(c). Moreover, because Bank One did not take the instrument from Agent, it had no knowledge that the check had been taken for the debt of Agent.

Bank One is not liable to Singer in conversion because Agent was authorized to collect payment on behalf of Singer. Furthermore, the check was payable to the order of Agent, properly indorsed, and properly paid by Bank One upon presentment by Bank Two. Under UCC § 1-201(20), Bank Two was a "holder" and therefore a "person entitled to enforce the instrument." UCC § 3-301. This is true even though Bank Two was not a holder in due course.

Accordingly, Singer has no rights against Bank One.

Point Three (15-25%)

Singer has no rights against Concert because Concert had paid an agent authorized to receive payment, and payment of the check discharged all underlying obligations.

Agent was authorized to collect funds owed to Singer for Singer's performance. Payment to an agent authorized to receive payment on behalf of the principal is considered payment to the principal. As stated in the RESTATEMENT (SECOND) OF AGENCY § 178(1)(1957), "If an agent, authorized to receive only money in payment of a debt, receives a check or other thing from the debtor and obtains the amount of the debt from the negotiation or sale of the thing received, the debt is paid."

Under the UCC, issuance of the check to the authorized agent suspends Singer's right to collect on the underlying obligation, and payment of the check results in discharge of the underlying obligation to the extent of the amount of the check. UCC § 3-310(b)(1).

Here the debt Concert owed Singer was \$20,000, and the amount of the check was \$20,000. The check was indorsed by the payee, presented by the depository bank, a holder under these facts, and paid by Bank One. Therefore payment of the check by Bank One, which resulted in Agent's receiving the full amount, discharged the \$20,000 debt owed by Concert to Singer. *See* UCC §§ 3-602, 3-310(b)(1).

Singer has no rights against Concert.

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure VI E, VI, F)

ANALYSIS

Legal Problems:

- (1) May a litigant who was not a party to a prior judgment invoke that judgment against another litigant who was a party in order to preclude relitigation of the identical issue previously decided?
- (2)(a) Is a federal district court's order refusing to grant summary judgment on collateral estoppel grounds a final judgment?
- (2)(b) Are there any exceptions to the final judgment rule that would permit review of an order refusing to grant summary judgment?

DISCUSSION

Point One (45-55%)

Plaintiff, a non-party to the *SEC v. Silver* action, may rely on the decision in that action to prevent Silver from relitigating the question of whether Silver's registration statement was false and misleading.

This question involves the scope of the doctrine of collateral estoppel and the right of a non-party to an action to use collateral estoppel offensively against a losing party in the action. If Silver is precluded by the *SEC v. Silver* judgment from relitigating the question of whether its registration statement was false or misleading, and if Plaintiff is entitled to assert that preclusive effect against Silver, then Plaintiff's motion for summary judgment on that issue should have been granted.

The doctrine of collateral estoppel (or issue preclusion) generally prevents a litigant from relitigating issues that have been previously litigated and determined in a prior action. The traditional requirements for asserting collateral estoppel are: (1) a valid and final judgment was rendered in a prior action; (2) an issue of fact was actually litigated, determined, and essential to the judgment in the prior action; (3) the same issue arises in a subsequent action; and (4) the same parties are litigants in both actions. RESTATEMENT (SECOND) OF JUDGMENTS § 27 (1982).

The first three elements of this test are clearly satisfied. First, the judgment in the prior case (*SEC v. Silver*) was final according to the facts. Second, the issue of fact relating to the misrepresentation was actually litigated, determined, and essential to the judgment in the prior action. Here, Silver vigorously contested the misrepresentation claims in the SEC lawsuit. Moreover, the finding of misrepresentation in that lawsuit was the basis for a grant of both declaratory and injunctive relief. Thus, the factual misrepresentation issues were actually litigated, determined (e.g., declaratory judgment), and essential to the judgment enjoining Silver. Third, the misrepresentation issues in the prior action, *SEC v. Silver*, were identical to the

misrepresentation claims in the subsequent action, *Plaintiff v. Silver*. Both actions revolved around whether the registration statement contained false and misleading representations of fact. However, the parties to the current action are not the same, and that fact alone would prevent collateral estoppel under traditional doctrine.

The modern approach to collateral estoppel, however, allows a non-party to the prior litigation (like Plaintiff) to invoke collateral estoppel against a party to the prior litigation, at least under certain circumstances. Section 29 of the RESTATEMENT (SECOND) OF JUDGMENTS reflects the modern view in stating that “[a] party precluded from relitigating an issue with an opposing party, in accordance with Sections 27 and 28, is also precluded from doing so with another person unless the fact that he lacked full and fair opportunity to litigate the issue in the first action or other circumstances justify affording him an opportunity to relitigate the issue.” When § 29 applies, there is a new fourth element in place of the “same parties” requirement. The new fourth element is that the party to be precluded had a full and fair opportunity to litigate the same issue in the prior action.

In *Parklane Hosiery Co. v. Shore*, 439 U.S. 322 (1979), the U.S. Supreme Court adopted this approach, upholding the use of offensive collateral estoppel against Parklane, which had litigated the relevant misrepresentation issues in a prior action brought by the SEC. Shore, a non-party to the prior lawsuit, was allowed to use collateral estoppel against Parklane in a subsequent lawsuit to preclude Parklane from relitigating the same issue a second time. The Court held that Parklane was not unfairly prejudiced because it had had a full and fair opportunity to litigate the issues in the earlier lawsuit. Thus, the *Parklane* case is consistent with the requirements of § 29, and it adopts offensive collateral estoppel as controlling federal law in federal courts.

Thus, while Plaintiff was not a party to the *SEC* lawsuit, and therefore could not have been bound if the *SEC* lawsuit judgment had been for Silver, Plaintiff is permitted to use collateral estoppel offensively in the subsequent lawsuit provided that Silver had a full and fair opportunity to litigate the same issue in the prior lawsuit. Here, Silver had that opportunity, and it vigorously litigated those issues. Accordingly, the trial judge erred in denying Plaintiff’s motion for summary judgment.

Point Two(a)(30-40%)

The appellate court should dismiss Plaintiff’s interlocutory appeal because there is no final judgment, and the appeal is premature.

The basic policy governing appeals from district court decisions is embodied in the final judgment rule, which prohibits appeals, with some exceptions, prior to entry of a final judgment by the trial court at the completion of the case in the trial court. This policy is designed to prevent the negative impact on trial and appellate courts that would occur if there were several appeals from rulings of the trial court during the course of the trial of a case. Frequent appeals would disrupt the trial court’s ability to move forward with the case and would strain the judicial resources of the appellate courts. The final judgment policy is embodied in Title 28 U.S.C. § 1291, which provides in relevant part that “the courts of appeals . . . shall have jurisdiction of appeals from all final decisions of the district courts of the United States.”

Plaintiff's appeal of the denial of the motion for summary judgment is clearly interlocutory and not final. Although the statute does not define "final decision," the courts hold that a "final decision is one that ends the litigation on the merits so that the only thing left for the district court to do is to execute the judgment." MOORE'S FEDERAL PRACTICE § 201.10 (3d ed. 1998). Here, the denial of Plaintiff's motion does not end the litigation; to the contrary, the trial on the merits will be more complex because of the decision. There was, accordingly, no final decision, and Plaintiff's appeal was premature under § 1291 unless an exception applies. *See generally Cunningham v. Hamilton County, Ohio*, 527 U.S. 198 (1999).

Point Two (b)(10-20%)

There are no exceptions to the final judgment rule that are likely to apply to these facts.

The applicants are asked to discuss the following exceptions to the final judgment rule: (1) the collateral order doctrine, *Cohen v. Beneficial Life Insurance Co.*, 337 U.S. 541 (1949), and (2) mandamus review under 28 U.S.C. § 1651(a); *Kerr v. U.S. District Court*, 426 U.S. 394 (1976).

The collateral order doctrine allows review of final orders of district court judges when those orders are collateral to (or separate from) the merits of the lawsuit, and the orders are effectively unreviewable on appeal. *Cunningham v. Hamilton County, Ohio*, 527 U.S. 198 (1999); *Cohen v. Beneficial Life Insurance Co.*, 337 U.S. 541, 546. Here, however, the order at issue (allowing relitigation of the issue of misrepresentation) is intimately connected with the merits of the lawsuit and is certainly subject to review on appeal of any final judgment. The collateral order doctrine is therefore inapplicable.

Plaintiff will not be able to rely on mandamus review because this requires a showing that the trial court decision is beyond its jurisdiction or violated a mandatory duty owed by the trial court. *Will v. United States*, 389 U.S. 90, 95 (1967); *Kerr v. U.S. District Court*, 426 U.S. 394 (1976). Although the trial court should have granted the motion for partial summary judgment, the fact that the trial court made an error of law does not warrant mandamus where there is otherwise no abuse of judicial authority. A wider use of mandamus to review legal errors would effectively eviscerate the final judgment rule, and appellate courts have accordingly been wary of a broad application of mandamus review. "A party may not use a writ of mandamus to correct ordinary error by the district court. . . . The burden is on the applicant to show intolerable error or misbehavior." MOORE'S FEDERAL PRACTICE § 201.44 (3d ed. 1998). The error in this case would not cross that high threshold, at least absent some evidence of extraordinary hardship to Plaintiff as a result of the error.

2002 MEE
Questions and Analyses

2002 MEE Questions and Analyses

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Preface

This publication includes the questions and analyses from the February 2002 and July 2002 Multistate Essay Examinations. Each test includes seven questions; most jurisdictions that use the MEE select the six questions their applicants will answer.

The model analyses to the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions for the sole purpose of assisting graders in grading the examination. These models are not an official grading guide. Some jurisdictions grade the MEE on the basis of state law, and jurisdictions are free to modify the analyses as they wish, including the suggested weights given to particular points. Grading of the MEE is the exclusive responsibility of the jurisdiction using the MEE as part of its admissions process.

The topic or topics covered by each question are listed on the first page of its accompanying analysis, followed by Roman numerals which refer to the MEE subject matter outline for that topic. For example, Question 1 on the February 2002 MEE tested Federal Civil Procedure I.A, subject matter jurisdiction, and I.E, venue. Subject matter outlines are included in the MEE Information Booklet and can also be found at www.ncbex.org.

Description of the MEE

The MEE is a three-hour examination consisting of six questions. The examination is administered in one continuous three-hour time period. Applicants are expected to spend approximately thirty minutes answering each of the questions. The areas of law covered by the questions in the examination are: Agency and Partnership, Commercial Paper, Conflict of Laws, Corporations and Limited Liability Companies, Decedents' Estates, Family Law, Federal Civil Procedure, Sales, Secured Transactions, and Trusts and Future Interests. Some questions include issues in more than one area of law.

The purpose of the MEE is to test the applicant's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the applicant to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test form contains the following instructions:

Do not break the seal on this booklet until you are told to begin.

You will have three hours in which to write your answers to six of the seven questions contained in this booklet; you will be told which of the questions you are to answer. Each question is designed to be answered in thirty minutes. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise, simply draw a line through the material you wish to delete.

Read each fact situation very carefully and do not assume facts which are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show: an understanding of the facts; a recognition of the issues included; the applicable principles of law; and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Some jurisdictions instruct applicants to answer MEE questions according to the law of the jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

February 2002

Question 1

Teacher lived in State A, where he taught in the public schools for eight years. Toward the end of his eighth year, Teacher was offered a lucrative teaching position in State B. Teacher decided to accept the offer and to move to State B. Teacher notified his school principal that he was leaving and put his State A home up for sale.

The day he sold his house, Teacher packed his belongings, rented a truck from Rentco, a State C corporation with its principal place of business in State A, and began the long drive to State B. While speeding on a State A highway toward State B, Teacher came upon a slow-moving car and applied the brakes in an effort to avoid an accident. The brakes failed, and Teacher rear-ended the slow-moving car. Passenger, a citizen of State A who was riding in the slower car, suffered severe back and neck injuries in the collision. After the State A police prepared a report of the accident, Teacher continued on to State B. Shortly after he arrived there, he purchased a home and began his new job.

Nine months after the accident, Passenger filed suit against Teacher in the United States District Court for the District of State A, alleging that Teacher's negligence caused Passenger serious personal injury. Passenger's complaint sought damages in excess of \$100,000.

Teacher timely moved to dismiss the complaint on the grounds that the court lacked subject matter jurisdiction and that venue was improper. While the motion to dismiss was pending, Teacher filed a third-party complaint against Rentco, seeking indemnification and claiming that the accident occurred because the brakes on the rental truck were defective. Before Teacher's motion could be heard, Passenger amended her complaint to state a claim directly against Rentco for negligence.

1. How should the federal district court rule on Teacher's motion to dismiss for lack of subject matter jurisdiction? Explain.
2. How should the federal district court rule on Teacher's motion to dismiss for improper venue? Explain.
3. If the district court were to deny Teacher's motion to dismiss on both grounds, would it have subject matter jurisdiction over Passenger's direct claim against Rentco? Explain.

Question 2

On January 2, Bank loaned Debtor \$5,000 and took a security interest in Debtor's "equipment now owned or hereafter acquired." On that date, Debtor signed a valid security agreement and financing statement that properly described the collateral. The security agreement contained a proper future advance clause. On January 3, Bank filed the financing statement in the correct locations.

On February 1, Seller sold a \$10,000 computer to Debtor on credit for use in Debtor's business. To secure payment of the purchase price, Seller took a security interest in the computer. Also on February 1, Debtor signed a valid security agreement and financing statement for Seller that properly described the collateral. Seller, however, did not file the financing statement. Debtor received possession of the computer on February 12 and began using it in her business on that same day.

On February 14, the sheriff lawfully seized the computer pursuant to a writ of execution obtained by Larry, a judgment creditor of Debtor, and sent notice of the levy to Bank. Bank received the notice on February 16. On February 17, Bank advanced Debtor \$12,000.

On February 20, Seller learned of Larry's levy. That same day, Seller filed in the correct locations the financing statement it had received from Debtor on February 1.

On March 1, Debtor defaulted on her obligation to Bank and on her obligation to Seller.

1. As between Bank and Seller, which has the superior security interest in the computer? Explain.
2. As between Seller and Larry, which has a superior interest in the computer? Explain.
3. Is Bank's security interest in the computer as collateral for the \$12,000 advance superior to Larry's claim? Explain.

Question 3

Several years ago, Bill, Carl, Donna, and several other participants formed a limited partnership named Transitions L.P., which operated a career counseling business. The limited partnership was properly formed, a written limited partnership agreement was properly executed, and all required filings were made in the proper state offices. The Certificate of Limited Partnership and the Limited Partnership Agreement do not modify any default provisions of the Revised Uniform Limited Partnership Act.

Bill is the sole general partner in Transitions. Carl, Donna, and the remaining partners are limited partners. Although the career counseling industry has experienced a rapid boom in the past few years, Transitions' business has not been financially successful and no distributions of profits have been made to the limited partners. As a result, several of the limited partners, including Carl and Donna, are unhappy with Bill's management of Transitions.

Carl decided that the limited partners should reach a consensus on how Transitions' day-to-day business should be conducted and then force Bill to follow their instructions. Carl went to Bill asking questions about the business operations of the limited partnership and asking to see Transitions' limited partnership records, including a list of the names and addresses of the other partners. Bill refused to answer any of Carl's questions, to allow Carl to examine any limited partnership records, and to provide him with information about the other partners. Bill claims that even if the limited partners all agree to change the way Transitions' business is run, Bill has no obligation to listen to them.

Donna does not believe that Transitions will be able to succeed in business if Bill remains in control. When Carl tells Donna that Bill does not intend to give up management of Transitions, Donna sells her interest in the limited partnership to Edward. Donna informs Bill that she has sold her interest to Edward and that Edward is now a limited partner in Transitions. Bill tells Donna that he doesn't approve of the sale and that Edward has no rights in the limited partnership and is not a partner.

1. Can Carl and the other limited partners decide how the day-to-day business of Transitions is to be conducted? Explain.
2. What rights, if any, does Carl have to obtain information from Bill about the business operations and records of Transitions? Explain.
3. What rights, if any, did Edward acquire as a purchaser of Donna's interest in Transitions? Explain.

Question 4

Testator duly executed a will dated March 1, 1998. Among other things, the will stated:

1. I direct that all of my just debts and expenses be paid by my executor.
2. I give my family home to my daughter, Daughter.
3. I give my 24-carat gold watch to my son, Son.
4. I give the rest of my estate, including any property over which I may have a power of appointment, to Trustee to hold in trust for the primary benefit of Son and Daughter, with the remainder to their children.

Testator was the income beneficiary of two separate testamentary trusts, one created by Testator's mother, Mary, the other by Testator's father, Frank.

Testator had a special testamentary power of appointment exercisable in favor of Testator's issue over the testamentary trust created by Mary. Mary's will provided that Testator could exercise the power only by a specific reference to the power of appointment created by Mary's will.

Testator had a general testamentary power of appointment over the testamentary trust created by Frank.

Both Mary and Frank died in 1990. They were survived by Testator, Son, and Daughter.

At Testator's death in October 2001, Testator owned (a) the family home on which Testator was personally liable for a \$50,000 mortgage, (b) an insurance policy that specifically insured Testator's 24-carat gold watch, which had been stolen from Testator five days before Testator died, and (c) a portfolio of stocks and bonds. Testator owned no other assets.

Bank was appointed executor of the estate. Trustee was named trustee of the trust created in paragraph 4 of Testator's will. Bank collected the value of the stolen watch from the insurance company.

1. Did Testator effectively exercise the two powers of appointment he had at the time of his death? Explain.
2. Should the \$50,000 mortgage on Testator's home be paid out of the assets of Testator's residuary estate? Explain
3. Should the insurance proceeds for the stolen watch be distributed to Son, as legatee of the watch, or to Trustee? Explain.

Question 5

Seven months ago, Husband and his wife, Wife, were driving on a highway. Their daughter, Daughter, age 10, was in the backseat. While driving, Husband negligently turned the wheel of the car to the right and hit Frank's car. Frank had parked his car on the shoulder, turned on the emergency flashing lights, and was changing a flat tire. The accident caused Frank's car to hit and kill Frank. Frank's fiancée, Emily, was with Frank, but was not physically injured. However, she witnessed the accident and held Frank in her arms as he died.

Wife was seriously injured in the accident. She was hospitalized for a month with broken bones and internal injuries and is still undergoing physical therapy six months later. Wife and Husband have remained married.

After the accident, Husband took Daughter to the doctor to be examined. Although Daughter was not injured in the accident, the doctor found that she was suffering from an incipient bone disease brought on by calcium deficiency from an imbalanced diet.

Frank and Emily had lived together during their two-year engagement, and Frank died one week before their planned wedding date. Since Frank's death, Emily has suffered from depression because she misses his companionship and intimacy. Consequently, she has been under psychiatric care.

Wife has brought a lawsuit against Husband for his negligence. Emily has also sued Husband for his negligence. Daughter has sued both Husband and Wife for their failure to provide her with a diet richer in calcium.

There is no guest statute in this jurisdiction.

1. Assuming Wife can prove a prima facie case of negligence, is Husband liable to Wife? Explain.
2. Are Husband and Wife liable to Daughter for their failure to provide Daughter with a diet richer in calcium? Explain.
3. On what theory or theories arising from her relationship with Frank might Emily reasonably base claims for damages against Husband, and what would be the likely outcome of each claim? Explain.

Question 6

On March 1, Lender lent \$10,000 to Borrower in exchange for a promissory note from Borrower. The promissory note was a form note Borrower had obtained from a stationery store. Borrower signed the note as maker and filled in the “date due” line to provide that payment was due September 1 of the same year.

Borrower and Lender had agreed that the amount due on the note would be \$10,500, representing both principal and interest on the loan. However, Borrower neglected to fill in the blank space on the form note for the amount due and also neglected to fill in the name of the payee in the blank space following the “pay to the order of” language. Despite these two omissions, the language of the form note did contain an unconditional promise to pay and did not contain any other promise or undertaking by Borrower.

A week after Lender accepted the note in exchange for the loan proceeds, Lender realized that both the amount and the payee lines had been left blank. Lender filled in his own name as payee and wrote “\$10,500” as the amount due.

On August 25 of that same year, Lender’s home was burglarized by Robber, who stole the note. Lender did not realize at that time that the note was missing. Robber then forged Lender’s indorsement on the note and sold the note on August 26 to Innocent, a good-faith purchaser for value, who paid \$10,350 for the note.

On September 1, Lender realized for the first time that the note was missing.

On September 2, Innocent presented the note for payment to Borrower, who paid \$10,500 in good faith to Innocent without knowledge of the forged signature or the theft of the note from Lender’s home.

1. After Lender filled in the blank amount and payee lines on the note, was the note enforceable against Borrower as completed? Explain.
2. Assume the note was enforceable and that Lender, unable to produce the note, demanded payment from Borrower on September 1 *before* Borrower had paid Innocent. What would be the rights and obligations of Lender and Borrower on the note? Explain.
3. Assuming the note was enforceable, did Borrower’s payment to Innocent discharge Borrower’s obligation to Lender on the note? Explain.
4. After Borrower paid Innocent, did Borrower have any rights of recovery against Innocent? Explain.

Question 7

The articles of incorporation of Ergo, Inc. authorize the issuance of 400,000 Class A Common Shares and 1,000,000 Class B Common Shares, all of which are issued and outstanding. Dart owns all of the Class A shares and none of the Class B shares. Ergo's Articles provide that Ergo has seven directors elected by straight voting, with Class A shares to elect four directors and Class B shares to elect three directors.

Several months ago, Ergo's board of directors properly approved an expansion plan for the business that would require \$5 million of additional capital. At their regular February 1 meeting, the directors discussed possible sources to fund the expansion plan. One Class B director suggested that Ergo borrow the funds from a bank.

Dart, who had elected herself as one of the Class A directors, suggested that Ergo issue a new class of shares that Dart would purchase for \$5 million. The new class of shares (Class C Preferred) would be entitled to a cumulative preferred dividend. In support of this alternative, Dart presented an opinion from an independent investment bank that stated:

- (1) \$5 million would be a fair value for the Class C Preferred, and
- (2) in the long run, payment of the proposed preferred dividend would be less costly to Ergo than interest payments on a loan.

After one hour of spirited discussion of these alternatives, all seven directors voted to recommend to the shareholders that Ergo's Articles be amended to authorize the issuance of the Class C Preferred as proposed by Dart. A special meeting of the shareholders was properly called for the purpose of voting on the proposed amendment to the Articles.

Prior to that meeting, a proxy statement was issued to all shareholders disclosing all relevant information about the plan to issue the Class C Preferred to Dart. However, the proxy statement did not disclose the alternative funding method the Class B director initially proposed. At the shareholders meeting, a quorum was present, and the amendment to the Articles was adopted by the following vote:

	<u>In Favor</u>	<u>Opposed</u>
Class A Shares	400,000	0
Class B Shares	720,000	100,000

Following shareholder approval, the Ergo board of directors met to consider the issuance of the newly authorized Class C Preferred. All seven directors voted to issue the Class C Preferred to Dart for \$5 million in cash.

A Class B shareholder filed a derivative action against the directors to enjoin the issuance of the Class C Preferred to Dart. The Class B shareholder alleged (a) that the directors erred in deciding to issue the Class C Preferred rather than borrow the money from the bank; (b) that the directors had breached their duty of care to Ergo; and (c) that Dart had breached her duty of loyalty to Ergo.

February 2002, Question 7

Considering the Class B shareholder's allegations and all possible defenses, who is likely to prevail? Explain.

July 2002

Question 1

Debtor bought a motor home from Uptown RV Sales on credit. Debtor signed a security agreement granting Uptown a security interest in the motor home. Two years later, Debtor lost her job and then defaulted on her loan by failing to make several monthly payments. Without sending any notice of default to Debtor, Uptown dispatched Ernest, one of its employees, to take possession of the motor home.

Ernest located the motor home parked on a public street. When he opened the door with a duplicate key, he found Debtor inside and told her that he was there to repossess the motor home. Debtor began yelling at him, "Get out of my home or I'll throw you out! This is the only place I have to live, and, anyway, you don't have any right to take my clothes and other stuff." Ernest departed without the motor home.

Two weeks later, the owner of Uptown sent Ernest back, this time to post a coupon on the windshield of the motor home fictitiously advertising a free steak dinner at the grand opening of a local restaurant on Friday evening. Debtor fell for the ploy. She went to the restaurant on Friday evening, parked the motor home in the lot at the rear of the restaurant, and went inside to see about her free dinner. She had left the door to the motor home unlocked.

Ernest, who had followed Debtor, waited for Debtor to get inside the restaurant, entered the motor home through the unlocked door, "hot-wired" the engine, and drove the motor home back to Uptown's garage. Debtor came out of the restaurant to find her motor home was gone.

Uptown's owner had arranged with a uniformed deputy sheriff to stand by in case it became necessary to keep the peace. The deputy sheriff observed the events from her patrol car parked some distance away but did not otherwise assist in the repossession.

1. Did Uptown have the right to repossess the motor home without sending notice of default to Debtor and without judicial process? Explain.
2. What arguments might Debtor reasonably make, based on the facts, that Uptown failed to carry out the repossession in a lawful manner? Explain.

Question 2

On February 10, 2000, Testator signed her last will, which was witnessed by two witnesses—Testator’s nephew, Nephew, and Testator’s next-door neighbor. Testator died on May 10, 2000, after a brief hospitalization.

During the six months before she died, Testator experienced frequent episodes of forgetfulness. For example, Testator often missed appointments with her physicians and her bank trust officer. Testator had also become increasingly forgetful about matters of personal hygiene. On the other hand, throughout that six-month period, Testator maintained all of her financial records and visited in person and by telephone with each of her 20 living relatives, all of whom she easily recognized and identified. On April 3, she contacted her broker to advise him to sell her shares in Able Corporation because she had lost complete faith in the corporation’s management following the release of its poor quarterly earnings report.

Testator’s will bequeathed \$100,000 to Nephew and the residue of her estate to Charity, a charitable organization with which Testator had been associated for more than 35 years. Nephew had no knowledge of the \$100,000 bequest until after Testator died. She left no bequest to her three nieces, who are Nephew’s three sisters. None of Testator’s other living relatives was as closely related to her as Nephew and her three nieces.

Contemporaneous with the execution of her last will, Testator signed a durable health care power of attorney designating Nephew as her agent to make all health care decisions for her in the event she could no longer make them for herself. Nephew and Testator’s next-door neighbor also witnessed this document.

One week before she died, Testator was admitted into a local hospital following a massive stroke causing severe brain damage. The following day, she lapsed into a coma and was connected to a life-support system. Four days later, Testator’s physician advised Nephew that there was nothing medical science could do for Testator. After considering this advice, Nephew directed the physician to remove Testator from all life-support systems. The following day, Testator was removed from the life-support system and she died. She left an estate in excess of \$1 million.

Testator’s three nieces argue that Testator’s durable health care power was not valid and that as a result Nephew should be liable in wrongful death for causing Testator’s death because Nephew directed Testator’s physician to withdraw Testator’s life-support systems. Furthermore, they claim that either Testator’s will is invalid or that, at minimum, the bequest to Nephew should be forfeited.

1. Is Nephew liable in wrongful death for causing Testator’s death? Explain.
2. Is Testator’s will invalid because of incapacity? Explain.
3. Assuming Testator’s will is valid, is the bequest to Nephew valid? Explain.

Question 3

Seller manufactures vending machines at a facility located in State A, where Seller is incorporated and has its principal place of business. Buyer, a German company with its principal place of business in Munich, Germany, contracted to purchase 1,000 vending machines from Seller for a total price of \$500,000.

The contract was carefully negotiated during lengthy discussions held in Germany. Early in the negotiations, each side insisted that the contract should be governed by its own law and that disputes should be resolved in its own courts. In the end, however, the parties agreed on contract clauses that provided: (1) “the substantive rights and remedies of the parties to this contract shall be governed by the Commercial Code of State N”; (2) “any and all litigation brought concerning this contract shall be brought in the state or federal courts of State N”; and (3) “Seller and Buyer hereby consent to venue, jurisdiction, and service of process by courts in State N.” Apart from these clauses, there is no connection between State N and the parties or the transaction. State N is located on the eastern seaboard of the United States. The parties chose State N because it has convenient air links to Germany and a widely respected judiciary that is regarded as expert in commercial law matters.

Seller shipped the vending machines to Germany, but Buyer refused the shipment after discovering that the goods had been seriously damaged during the ocean voyage and arrived in Germany in a worthless condition. Seller then sued Buyer in federal district court in State A, properly invoking the court’s subject matter jurisdiction and seeking recovery of the \$500,000 contract price on the ground that the risk of damage to the goods during transport was on Buyer throughout the ocean voyage. In responding to Seller’s complaint, Buyer moved to transfer the case to the federal district court in State N, pursuant to 28 U.S.C. § 1404(a) and the forum-selection clause in the contract. Seller resisted Buyer’s transfer request on the grounds that (a) State A was a more convenient forum for Seller, and (b) the forum-selection clause was unenforceable under State A law, which declares such clauses to be “void as a matter of public policy.”

While the transfer motion was pending, Seller delivered a notice of deposition to Buyer, demanding that Buyer’s chief executive officer appear for a deposition. Buyer responded by asking the court for a protective order on the ground that its “officers, directors, and managing agents” are all in Germany and are therefore beyond the subpoena power or other authority of the court.

Assume that there are no applicable international law principles or treaties.

1. Should the federal district court in State A transfer the action to State N? Explain.
2. Irrespective of how the court rules on the transfer motion, should Buyer’s request for a protective order be granted? Explain.

Question 4

On May 10, Driver contracted to buy a sports car from Motors for \$25,000. The car was a popular model in high demand, and there was a four-month waiting period. Motors promised to deliver the car in September, and Driver promised to pay for the car at delivery using a cashier's check.

To make sure he had the money to pay for the car in September, Driver immediately bought the necessary \$25,000 cashier's check, payable to Motors, from First Bank. The cashier's check was dated May 11. Driver paid for the cashier's check by negotiating to First Bank a \$25,000 check that Driver had obtained from a lender called Auto-Loans.

On September 15, Motors delivered the sports car to Driver and took in exchange the \$25,000 cashier's check. Motors immediately presented the cashier's check to First Bank for payment.

First Bank refused to pay the cashier's check because the Auto-Loans check that Driver had negotiated to First Bank was dishonored. First Bank's refusal to pay the cashier's check surprised both Motors and Driver because neither of them knew of any problem with the Auto-Loans check. Driver has retained the sports car and has refused to make good on the cashier's check, claiming that his transfer of the cashier's check to Motors discharged his obligation under the contract.

What rights, if any, does Motors have against First Bank and Driver under Article 3 of the Uniform Commercial Code? Explain.

Question 5

Ann and Bert, a married couple, were unable to have biological children because Bert was infertile. They decided to try artificial insemination by an anonymous donor. Their doctor performed the procedure after obtaining written consent from both Ann and Bert. As a result of the artificial insemination, Ann became pregnant.

During the last months of Ann's pregnancy, she and Bert argued constantly, and Ann moved out of the family home into her own apartment. The baby, Daughter, was born while Ann and Bert were living apart. Bert visited Ann and Daughter in the hospital and paid their medical expenses. He tried to convince Ann to reconcile with him, but Ann refused, leaving the hospital with Daughter and returning to her apartment. Bert continued to visit them and contributed to Daughter's support.

Shortly after Daughter's birth, Ann began an affair with Walt. Walt also spent some time with Daughter and grew fond of her. When Daughter was one year old, Ann discovered she was pregnant by Walt. When Walt learned Ann was pregnant, he became very upset and began to abuse Ann verbally and physically. Ann immediately broke off the relationship with Walt. Shortly thereafter, she reconciled with Bert.

Ann, Bert, and Daughter were living together when Ann's baby, Sonny, was born. Walt, Sonny's biological father, contacted Ann, apologized for his past abusive behavior, and requested to see Sonny. He also offered to pay the expenses of Sonny's birth and to contribute to Sonny's support. Ann rejected both his request and his offer.

When Sonny was six months old and Daughter was two years old, Ann was killed in an automobile accident. She left a valid will stating that if she died while her children were minors, she wanted Bert to be named custodian and guardian of both of them.

Walt has sued Bert, seeking to establish himself as Sonny's legal father and requesting custody of both children. Bert claims that he is the legal father of both Daughter and Sonny and wants to maintain physical custody of both children. Under the law of the jurisdiction, both parties have standing to raise these issues.

How should the court rule on Walt's and Bert's claims? Explain.

Question 6

Sunrise Lodge is a corporation that develops and operates luxury resort hotels. Sunrise recently began constructing a hotel in East Beach, a beach town on the Atlantic coast of the United States. Sunrise hoped to give the East Beach hotel a local flavor by using local sources for materials.

Sunrise hired Adam to be its interior design agent on the East Beach project. The contract between them, which was for a one-year term, included the following language:

Adam has the discretion to make selections for interior floor and wall coverings, works of art, furniture, plumbing fixtures, and lighting fixtures for East Beach hotel, provided that (a) the cost of such purchases does not exceed the budgeted amounts listed in Exhibit A, (b) all purchases will be made from local vendors, and (c) the items selected are within the quantity and style guidelines described in Exhibit B. Adam shall inform vendors that purchases are for Sunrise East Beach and should arrange for Sunrise to be billed on a 30-day net basis.

The style guidelines in Exhibit B include a comprehensive list of themes and styles typical of an Atlantic fishing village like East Beach, including lighthouses, whitewashed wood, lobster traps, wicker furniture, and sailboats.

After hiring Adam, Sunrise sent a letter to prospective local suppliers on Sunrise stationery signed by the Sunrise president, announcing Adam's appointment as follows:

Sunrise Lodge is delighted to announce the appointment of Adam, a well-known local interior designer, to act on its behalf in the selection of interior floor and wall coverings, works of art, furniture, and plumbing and lighting fixtures for the Sunrise East Beach hotel. We are confident that—working only with local suppliers—Adam will exercise a wonderful creative flair in coming up with just the right look for this exciting project. Know that you deal with Sunrise when you deal with Adam on this project.

During the first months of Adam's one-year term, Adam entered into the following transactions with suppliers who had received Sunrise's letter.

First, Adam contracted with Tahini for the main lobby area of the hotel to be decorated entirely in a Tahitian theme. The items for the Tahitian decor are within the budget and are from a local supplier. However, they are not within the Exhibit B style guidelines.

Second, Adam contracted with Moby for the guest rooms to be decorated using authentic themes from the Atlantic seaboard region as required by Exhibit B. The decor selections are within budget and are from local suppliers, but the Sunrise officials do not like the design.

Sunrise has refused to pay either vendor and has terminated Adam's contract.

1. On what agency principles, if any, is Sunrise liable to Tahini and Moby on their respective contracts? Explain.
2. Is Adam liable to Sunrise as a result of the contracts with Tahini and Moby? Explain.
3. May Sunrise terminate Adam's agency before the end of their one-year contract term without incurring liability to Adam? Explain.

Question 7

On February 5, 1999, Testator created a revocable inter vivos trust. This trust was validly executed. Bank was designated trustee of the revocable trust.

Under the terms of the trust, Testator retained all income for life. The trust then provided in Article II that "upon my death the principal shall be held in further trust with the income payable to my wife, Wanda, for life, remainder to my children."

Contemporaneous with the creation of the revocable trust, Testator validly executed a will devising Testator's entire probate estate to the trustee of the revocable trust to be disposed of as part of that trust. The will further provided that, if the trust was revoked prior to Testator's death, Testator's entire estate should pass to Wanda.

On March 1, 2000, Testator sent a validly executed trust amendment to Bank revoking Article II of the revocable trust and substituting for it a new Article II. This new article stated that "upon my death the principal shall be held in further trust with the income payable to my wife, Wanda, for the immediate two years after my death, and, at the end of the two-year period, the trust principal shall be distributed to my surviving children."

In March 2001, Testator and Wanda were divorced.

In March 2002, Testator died, leaving a probate estate of \$100,000. The revocable trust had not been funded prior to Testator's death. Testator was survived by Wanda and by their three children, Adam, Ben, and Carrie.

Two months later, both Wanda and Adam died in an automobile accident. Under Wanda's probated will, her entire estate passed to a charitable institution, Hope, and under Adam's probated will, his entire estate passed to University. Ben and Carrie are alive. They each have one child who also survived Testator. Adam never had any children.

1. Which instruments control the disposition of the property included in Testator's probate estate? Explain.
2. Upon Testator's death, what interest, if any, did Wanda have under the revocable trust? Explain.
3. Assuming that Wanda had an interest under the trust, what rights, if any, do Hope and University have under the revocable trust upon the deaths of Wanda and Adam? Explain.

February 2002

FEDERAL CIVIL PROCEDURE I.A, I.E

Question 1 Analysis

Legal Problems:

- (1) Were the requirements of the diversity jurisdiction statute met here, even though at the time of the accident Passenger, the plaintiff, and Teacher, the defendant were citizens of the same state?
- (2) Were the requirements of the venue statute met here, given that Passenger filed in her home state, which was where the accident occurred?
- (3) Is supplemental jurisdiction available over Passenger's claim against Rentco, the third-party defendant, given that they are citizens of the same state?

DISCUSSION

Point One:

(35-45%)

Because Passenger and Teacher were citizens of different states when the complaint was filed and the amount in controversy exceeds \$75,000, Passenger properly invoked federal diversity jurisdiction. It is irrelevant that the plaintiff and the defendant were citizens of the same state at the time of the accident.

The court should deny Teacher's motion to dismiss for lack of subject matter jurisdiction. The requirements for federal diversity jurisdiction have been established in this case.

Passenger's complaint states only a state-law negligence claim, so federal question jurisdiction under 28 U.S.C. § 1331 is unavailable. Diversity jurisdiction is available under 28 U.S.C. § 1332(a)(1) only if Passenger and Teacher are citizens of different states and the amount in controversy exceeds \$75,000, exclusive of costs and interest. An individual is a citizen of the state in which he or she is domiciled. In order to change one's domicile, one must be physically present in the new place with the intent to make that place one's permanent home. *See, e.g., Mississippi Band of Choctaw Indians v. Holyfield*, 490 U.S. 30, 48 (1989).

The problem states that Passenger is a citizen of State A. At the time of the accident, Teacher had sold his home in State A, quit his job in State A, and accepted a new job in State B. Teacher was, however, still a domiciliary of, and hence a citizen of, State A because he had not yet reached State B after having formed the requisite intent to change his domicile. Had the suit been filed the day of the accident, diversity jurisdiction would have been unavailable because both the physical and mental elements must be present for a change of domicile. Jack H. Friedenthal et al., *CIVIL PROCEDURE* 30 (3d ed. 1999)

It is well settled, however, that the availability of diversity jurisdiction is determined *as of the date the suit is commenced*. 13B Charles Alan Wright, Arthur R. Miller & Edward H. Cooper, FEDERAL PRACTICE AND PROCEDURE § 3608 (2d ed. 1984 & Supp. 2001). Having purchased a home in State B and begun his new job shortly after his arrival there, Teacher had established a new domicile in State B. Hence, at the time suit was filed in this case, nine months after the accident, Teacher had become a domiciliary and citizen of State B. Thus, diversity of citizenship existed between Passenger and Teacher.

In addition to diversity of citizenship, the amount in controversy must exceed \$75,000, exclusive of costs and interest. 28 U.S.C. § 1332(a). Because Passenger's complaint seeks damages in excess of \$100,000, the amount in controversy requirement is met.

The motion to dismiss for lack of jurisdiction should be denied: there is diversity of citizenship, and the amount in controversy requirement is satisfied.

Point Two:

(15-25%) Because venue is proper in a diversity case in the judicial district in which a "substantial part of the events or omissions giving rise to the claim occurred," and because the accident occurred in State A, venue is proper in the federal district court of State A.

The court should deny Teacher's motion to dismiss for improper venue. The requirements of the venue statute, 28 U.S.C. § 1391, are met.

Venue is a geographical concept that localizes lawsuits in places that are connected either to the parties or to the events giving rise to the action. Stephen C. Yeazell, CIVIL PROCEDURE 191-92 (4th ed. 1996). Under 28 U.S.C. § 1391(a), which applies to civil actions in which jurisdiction is founded solely on diversity of citizenship (as is the case here), venue is proper in "(1) a judicial district where any defendant resides . . . , [or] (2) a judicial district in which a substantial part of the events or omissions giving rise to the claim occurred . . ." 28 U.S.C. § 1391(a). Here, Teacher resides in State B. However, the accident itself occurred in State A. Thus, a substantial part of the events giving rise to the claim occurred in State A, and venue in State A is proper under § 1391(a)(2).

NOTE: Some examinees might suggest that venue is proper in the federal district court of State A because the plaintiff, Passenger, resides there. Although under the pre-1990 version of the venue statute, venue in diversity cases was proper in the district "where all plaintiffs . . . reside," that language was eliminated by enactment of the Judicial Improvements Act of 1990. Thus, under current law, the plaintiff's residence in State A is irrelevant to venue.

Point Three:

(40-50%) Although Passenger's claim against Teacher and her claim against third-party defendant Rentco derive from a common nucleus of operative fact and hence are part of the same case for purposes of Article III of the Constitution, supplemental jurisdiction is statutorily unavailable over claims by plaintiffs against persons made parties under Rule 14.

The district court cannot exercise subject matter jurisdiction over Passenger's direct claim against Rentco. There is no independent basis for jurisdiction (neither diversity nor federal question), and supplemental jurisdiction is not available for this type of claim.

Rule 14(a) of the Federal Rules of Civil Procedure permits a defendant to bring a third party into an action if the defendant believes the third party “may be liable” to defendant for all or part of any judgment against defendant in the action. Pursuant to this rule, defendant Teacher brought Rentco into the action as a third-party defendant. Passenger sought thereafter to amend the original complaint to state a claim directly against Rentco. The issue is whether the court has jurisdiction over Passenger’s direct claim against Rentco. For reasons explained below, the court cannot take jurisdiction over Passenger’s claim.

In the first place, there is no independent basis for federal jurisdiction over this claim. Plaintiff Passenger and third-party defendant Rentco are both citizens of State A, so diversity jurisdiction is not available for Passenger’s claim against Rentco. Under § 1332(c)(1), a corporation is deemed a citizen of both its state of incorporation and the state in which it maintains its principal place of business. 28 U.S.C. § 1332(c)(1). Hence, Rentco is a citizen of both State A and State C. Because Passenger is a citizen of State A as well, there is no independent basis for diversity jurisdiction over Passenger’s direct claim against third-party defendant Rentco. Further, because Passenger’s claim against Rentco is a state-law negligence claim, there is no federal question jurisdiction.

Supplemental jurisdiction is also not available. Section 1367(a) provides that in a civil action of which the district court has original jurisdiction, the court has supplemental jurisdiction over “all other claims that are so related to claims in the action within such original jurisdiction that they form part of the same case or controversy under Article III of the United States Constitution.” 28 U.S.C. § 1367(a). In *United Mine Workers of America v. Gibbs*, 383 U.S. 715, 725 (1966), the U.S. Supreme Court held that two claims will have that requisite connection if they “derive from a common nucleus of operative fact.” Here, Passenger’s claim against Teacher and Passenger’s claim against third-party defendant Rentco derive from a common nucleus of operative fact: the failure of the brakes, the accident, and Passenger’s resultant injuries. Without regard to their federal or state character, we would expect plaintiff to bring these claims together in a single action. *Id.*

However, Congress created statutory exceptions to supplemental jurisdiction. One of those exceptions, 28 U.S.C. § 1367(b), applies here to prevent the court from taking jurisdiction. Section 1367(b) provides that supplemental jurisdiction in diversity cases shall not extend to “claims by plaintiffs against persons made parties under Rule 14. . . .” 28 U.S.C. § 1367(b). Because Passenger’s claim against Rentco is a claim by a plaintiff against a person made a party under Rule 14 (Rentco was brought into the suit when Teacher filed a third-party complaint against it under Rule 14), supplemental jurisdiction is unavailable. Passenger could proceed directly against Rentco only if there were an independent basis for jurisdiction (e.g., diversity), and there is none.

Because there is no independent basis for jurisdiction over this claim and because supplemental jurisdiction is unavailable, the district court should dismiss Passenger’s claim against Rentco

SECURED TRANSACTIONS IV.A, IV.F

Question 2 Analysis

Legal Problems:

- (1) Does a purchase money security interest perfected later than a general security interest prevail over the earlier perfected general security interest?
- (2) Does an initially unperfected purchase money secured creditor prevail over a later lien creditor?
- (3) Does a lien creditor prevail over a secured creditor with respect to a post- lien future advance?

DISCUSSION

Point One:

(30-40%)

Because Seller perfected a purchase money security interest (PMSI) within 20 days after Debtor received possession of the computer, Seller prevails over Bank by virtue of the PMSI exception in UCC § 9-324(b) (2000).

As between two secured creditors, the general priority rule is found in UCC § 9-322 (2000)—first to file or perfect has priority. Bank filed on January 3 and it perfected on that date as well, since its security interest had previously attached (i.e., on January 2, Debtor had rights in its existing equipment, Bank gave value through its loan, and Debtor signed a security agreement). *See* UCC § 9-203 (2000); § 9-308 (2000). Seller, however, did not file and perfect until February 20. Thus, under the general “first to file or perfect” rule, Bank would have priority over Seller.

There is, however, an exception to the general rule. Under UCC § 9-324(b) (2000), a PMSI in collateral other than inventory has priority over a conflicting security interest in the same collateral if the PMSI is perfected at the time the debtor receives possession of the collateral or within 20 days thereafter. Seller did take a PMSI because Seller took a security interest to secure all or part of the price of the computer that it sold. *See* UCC § 9-103(b) (2000). In addition, it is a PMSI in “collateral other than inventory” because the problem states that the computer is “for use in Debtor’s business.” Thus, the computer is properly characterized as “equipment” of Debtor. *See* UCC § 9-102(33) (2000). Finally, as mentioned, the PMSI was perfected on February 20—within 20 days after Debtor received possession of the computer, because Debtor received possession on February 12. Thus, pursuant to the PMSI exception, UCC § 9-324(b) (2000), Seller has priority over Bank. (Note that Bank does hold a conflicting security interest because its after-acquired property clause attached to the computer as soon as Debtor had rights in it, which was no later than February 12, when Debtor took possession. *See* UCC § 9-203 (2000); § 9-204 (2000).)

Point Two:

(30-40%) Because Seller filed within 20 days after Debtor received possession of the computer, Seller prevails over Larry by virtue of the PMSI exception in UCC § 9-317(e) (2000).

Larry qualifies as a lien creditor because he acquired his lien on Debtor's computer by way of the sheriff's levy on February 14. UCC § 9-102 (2000). As between a secured creditor and a lien creditor, the general priority rule is found in UCC §§ 9-317(a)(2), 9-323 (2000)—a perfected security interest prevails over a lien creditor whose lien arises after the time of perfection. Under the majority rule, Larry became a lien creditor on February 14—the date of the sheriff's levy. *See* Lynn M. Lopucki & Elizabeth Warren, SECURED CREDIT: A SYSTEMS APPROACH 572 (2d ed. 1998). Another way of viewing it is to say that “The unperfected security interest is subordinate to the rights of a lien creditor.” UCC § 9-317(a)(2) (2000). Seller did not perfect until February 20 (see above discussion). Thus, under the general rule, Larry would prevail over Seller.

There is, however, an exception to this general rule as well. UCC § 9-317 (2000) notes that a secured party who files with respect to a PMSI within 20 days after the debtor receives possession of the collateral takes priority over the rights of a lien creditor that arise between the time the security interest attaches and the time of filing. As previously explained, Seller's interest is a PMSI, and Seller filed within the 20-day period after Debtor received possession (filing on February 20; Debtor's possession on February 12). Moreover, Larry's lien arose on February 14, which is between the time of Seller's attachment (February 12) and the time of filing (February 20). Thus, under the UCC § 9-317(e) (2000) exception, Seller prevails over Larry.

Point Three:

(20-30%) Because Bank's future advance was made within 45 days of Larry's becoming a lien creditor, Bank has priority in the future advance.

The general rule for contests over future advances between lien creditors and secured creditors is found in UCC § 9-323(b)(2000). That section provides that lien creditors are subordinate to perfected security interests only to the extent that the interest secures advances made (1) before the lien arose; (2) within 45 days of the lien; (3) without knowledge of the lien; or (4) pursuant to a commitment entered into without knowledge of the lien.

The problem is somewhat complicated because the facts indicate that Bank had knowledge of the lien on February 16—one day *before* the future advance was made. Some applicants may believe, therefore, that Bank's knowledge of the lien precludes it from gaining priority in the future advance. Pursuant to UCC § 9-323(b)(2000), however, future advances made within 45 days of the lien, *even if the secured creditor is aware of the lien's existence*, take precedence over the lien. As previously explained, the lien arose on February 14. The advance was made on February 17—well within the 45-day window of UCC § 9-323(b)(2000). Thus, Bank's security interest prevails over Larry's lien as to the future advance.

AGENCY & PARTNERSHIP X.C

Question 3 Analysis

Legal Problems:

- (1) Can the limited partners decide how the day-to-day business of a limited partnership is to be conducted?
- (2) What rights does a limited partner have to obtain information from the general partner about the limited partnership's affairs?
- (3) What rights does a purchaser of a limited partnership interest have in the limited partnership if such purchase is not approved by the partnership?

DISCUSSION

Point One:

(35-45%) Carl and the other limited partners have no right to determine how the day-to-day business of Transitions is to be conducted. Management of the business is vested exclusively in Bill, the general partner.

A limited partnership is a partnership which has one or more general partners and one or more limited partners. Revised Unif. Ltd. Partnership Act (RULPA) § 101(7). A general partner of a limited partnership generally has the powers and the liabilities of a partner in a general partnership. RULPA § 403. Management of a limited partnership is entrusted to the general partners, who are personally liable for the obligations of the business. *Life Care Centers of America, Inc. v. Charles Town Assoc. Ltd. Partnership*, 79 F.3d 496, 503 (6th Cir. 1996) (dictum); *United States v. Heffner*, 916 F. Supp. 1010, 1012 n.2 (S.D. Cal. 1996) ("general partner controls the business of the limited partnership to the exclusion of the limited partners"); *Duke & Benedict, Inc. v. Wolstein*, 826 F. Supp. 1413, 1415 (M.D. Fla. 1993) ("The defendant is the general partner of this partnership and has complete control over the management and affairs of this business.").

By comparison, limited partners generally have no control over how the day-to-day business of the limited partnership is conducted. *Duke & Benedict, Inc.*, 826 F. Supp. at 1415 ("The plaintiff is the limited partner, who has no say or control as to how the partnership is run."); *In re the Cincinnati, Ltd.*, 143 B.R. 108, 110 (S.D. Ohio 1992) (holding that limited partner was not entitled to have provision included in limited partnership agreement giving it voice in selection of manager; limited partners "do not have statutory right to exercise control of the partnership's decisions"). The role of limited partners in a limited partnership is generally passive, with only limited rights to vote on extraordinary events of the partnership, such as dissolution or sale of substantially all of the partnership's assets.

Therefore, Bill, as the sole general partner, has exclusive control over the daily management of Transitions, and Carl and the other limited partners cannot decide how the day-to-day business of Transitions is to be conducted.

Point Two:

(10-20%) Carl, as a limited partner, has the right to inspect various records of Transitions and to obtain information about the affairs of Transitions from Bill, the general partner.

A limited partnership is required to keep specified records at its office, including the names and addresses of each partner, any income tax returns or reports for the three most recent years, and any financial statements for the three most recent years. RULPA § 105. Upon reasonable request, any limited partner may inspect and copy during ordinary business hours any of the records required to be kept by the limited partnership. RULPA §§ 105(b), 305. In addition, any limited partner has the right to obtain from the general partners upon reasonable demand “true and full information regarding the state of the business and financial condition of the limited partnership” and “other information regarding the affairs of the limited partnership as is just and reasonable.” RULPA § 305.

Therefore, Carl has the right to inspect the records that Transitions is required to keep and the right to obtain from Bill, the general partner, true and full information regarding the business and financial condition of Transitions.

Point Three:

(30-40%) Edward’s purchase of Donna’s limited partnership interest in Transitions did not result in Edward’s becoming a limited partner, although Edward did obtain Donna’s financial rights in Transitions.

A limited partnership interest is personal property and, except as provided in the partnership agreement, is freely assignable in whole or in part. RULPA §§ 701, 702. However, assignment of a limited partnership interest does not entitle the assignee to become a limited partner or to exercise any of the rights of a limited partner. RULPA §§ 301, 702. Instead, assignment only entitles the assignee to receive (to the extent assigned) any distributions to which the assignor would be entitled. *Id.* In other words, a limited partner may only assign his or her economic rights in the limited partnership. *See generally* IV Alan R. Bromberg & Larry E. Ribstein, BROMBERG AND RIBSTEIN ON PARTNERSHIP §§ 13.04(e), 13.06(e)(2)-(f) (1988).

An assignee of a limited partnership interest may be admitted as a limited partner to the partnership only if all partners have consented to such admission, unless the partnership agreement expressly gives the transferring partner the right to admit a new partner without approval of the other partners. RULPA § 704. The facts indicate that Bill disapproves of the sale and there is no indication that the other partners approved the admission of Edward as a limited partner. Edward therefore did not become a limited partner in Transitions upon Donna’s sale of her limited partnership interest to Edward. As a result, Edward cannot exercise any of the rights of a limited partner, such as the right to inspect records (RULPA §§ 105, 305), the right to obtain information regarding the limited partnership (RULPA § 305), the right to seek a judicial dissolution (RULPA § 802), or the right to bring a derivative action (RULPA § 1001).

On the other hand, the assignment of Donna’s limited partnership interest to Edward did transfer Donna’s economic rights in Transitions to Edward. Consequently, Edward is entitled to any distributions from Transitions to which Donna would have been entitled.

DECEDENTS' ESTATES II.I; TRUSTS II.D

Question 4 Analysis

Legal Problems:

- (1)(a) Did Testator's will, which included a general residuary clause purporting to exercise all of the donee's powers of appointment (a so-called "blanket exercise" clause), effectively exercise the special testamentary power of appointment that was created in Mary's will?
- (1)(b) Did Testator's will, which included a blanket exercise clause, effectively exercise the general testamentary power of appointment created in Frank's will?
- (2) Does Daughter, the devisee of specifically devised encumbered property, take that property subject to the mortgage where the will contains a clause directing that the decedent's debts be paid by the executor?
- (3) Is Son, the specific legatee of the watch, entitled to the insurance proceeds on the watch that were payable as a result of the theft of the watch shortly before Testator's death?

DISCUSSION

Point One(a):

(15-25%) The "blanket exercise" clause in Testator's will did not effectively exercise the power of appointment given to Testator by Mary's will because Mary's will required Testator to refer specifically to the power when exercising it.

In most states, a general residuary clause in a will (e.g., "I give all of my estate. . .") does not exercise powers of appointment. The situation is different if the general residuary clause is coupled with what is called a "blanket exercise" clause (e.g., "including all property over which I have a power of appointment"), as is the case here. Under these circumstances, any power of appointment held by the donee is exercised, unless the donor of the power of appointment specifically required the donee to refer to the instrument creating the power when exercising the power. *See generally* Unif. Probate Code § 2-608. *See also* Restatement (Second) of Property §§ 17.1-.2 (1984). *Accord Holzbach v. United Virginia Bank*, 216 Va. 482, 219 S.E.2d 868 (1975).

Here, Mary, the donor of Testator's special power, expressly required that Testator specifically refer to her will in which the power was created if Testator, as donee of the power, sought to exercise the power. Testator's will contained only a blanket exercise clause, which failed to satisfy a condition on the exercise of the power imposed by the donor. Thus, the power was not effectively exercised.

Point One(b):

(10-15%) Testator's general testamentary power created by Frank's will was effectively exercised by a blanket exercise clause.

No facts indicate that Frank imposed a specific reference requirement with respect to the general testamentary power that Frank, as donor, granted Testator, as donee. Therefore, under the rule that a blanket exercise clause is effective to exercise powers absent a specific reference requirement (see Point One(a)), Testator's will effectively exercised the general testamentary power of appointment.

Point Two:

(20-30%) At common law, Daughter takes the family home free of the mortgage. Under the law of most states today, Daughter takes the home subject to the mortgage on which Testator was liable at the time of his death. The mortgage is not payable from the assets of Testator's estate.

Under the common-law doctrine of exoneration, the specific devisee of encumbered real property was entitled to have the mortgage on the property paid from the estate as a debt of the decedent unless there was evidence of a contrary intent on the part of the testator. *See, e.g., Martin v. Johnson*, 512 A.2d 1017 (D.C. 1986).

On the other hand, many states have adopted statutes contrary to this common-law rule of exoneration. For example, the Uniform Probate Code provides that "a specific devise passes subject to any mortgage interest existing at the date of death, without right of exoneration, regardless of a general directive in the will to pay debts." Unif. Probate Code § 2-607. In states with statutes of this type, the specific devisee of encumbered property takes subject to the mortgage notwithstanding the fact that the will contained a clause directing the executor to pay the decedent's debts.

Courts have also held that a general directive to pay debts is insufficient to evidence an intent to exonerate the devisee of specifically devised property. *See, e.g., Griffin v. Gould*, 72 Ill. App. 3d 747, 391 N.E.2d 124 (1979). Depending on the underlying state law, Daughter takes either subject to the mortgage or free of the mortgage.

Point Three:

(25-35%) The insurance proceeds payable as a result of the theft of the watch shortly before Testator's death should pass to Son as the specific devisee of the watch. There is, however, contrary authority.

Under the doctrine of ademption, if the subject matter of a specific devise is not in the probate estate at the time of the testator's death, the bequest to the devisee adeems (or fails). *See generally* William H. McGovern, Jr. & Sheldon F. Kurtz, *WILLS, TRUSTS AND ESTATES* 295 (2d ed. 2001). However, if the property was destroyed by fire or lost by theft and proceeds of insurance are paid to the executor of the estate in settlement of claims against the insurance company, some courts hold that the insurance proceeds are payable to the specific devisee as a substitute for the specifically devised property. *See White v. White*, 105 N.J. Super. 184, 251 A.2d 470 (1969); *accord In re Estate of Wolfe*, 208 N.W.2d 923 (Iowa 1973); Unif. Probate Code § 2-606.

However, some state courts have held to the contrary, finding that the insurance proceeds pass as part of the testator's residuary estate. *In re Estate of Wright*, 7 N.Y.2d 365, 197 N.Y.S.2d 711, 165

N.E.2d 561 (1960). They find that the insurance policy is a separate and distinct asset from the property subject to the specific devise and that the proceeds, as specifically undisposed property, pass to the residuary legatees under the will.

It seems that the majority rule stated in *Wolfe*, 208 N.W.2d 923, as well as in the Uniform Probate Code and some other state codes is the better rule because it is more likely to accord with the reasonable expectations of a testator

FAMILY LAW V, VI.C, VI.E

Question 5 Analysis

Legal Problems:

- (1) If a wife sues her husband for injuries resulting from her husband's negligence, is such action barred by spousal immunity?
- (2) If a child sues her parents for negligence in an area of parental discretion, is the action barred?
- (3) May a bystander who is an unmarried cohabitant and who witnesses her fiancé's death recover for negligent infliction of emotional distress or for loss of consortium, or is such recovery limited only to close family members?

DISCUSSION

Point One:

(25-35%) In the great majority of jurisdictions, negligence suits between husbands and wives are no longer barred by spousal immunity.

For many years, husbands and wives could not sue each other for negligence. The usual reasons for such immunity were that such suits would be destructive of marital harmony and would encourage fraud and collusion against insurance companies. Homer Harrison Clark, *THE LAW OF DOMESTIC RELATIONS IN THE UNITED STATES* § 11.1 (2d ed. 1987).

In the vast majority of jurisdictions, however, interspousal immunity has been abolished as courts have dismissed fears of disrupting familial harmony and of collusion. John DeWitt Gregory et al., *UNDERSTANDING FAMILY LAW* § 6.02 (2d ed. 1993). In these jurisdictions, if Wife can prove that Husband's negligence caused her injuries (as it appears from the facts that it did), then she may receive compensation for her injuries.

Point Two:

(30-40%) The majority of courts have abolished absolute immunity for most parent-child lawsuits. However, in areas dealing with the exercise of ordinary parental discretion, no suit would be allowed.

Historically, just as husbands and wives could not sue each other, and for comparable concerns about family harmony, minor children could not sue their parents for personal injury torts. Many jurisdictions, probably a majority, have abolished this absolute immunity. Clark, *supra*, § 11.2.

Even though parents are not absolutely immune from suits by their children, they have substantial discretion in making decisions concerning their children's upbringing. Because of this discretion, children cannot recover for acts that might otherwise result in liability. Courts are reluctant to substitute their judgment for that of parents (to act *in loco parentis*) and to interfere in the arena of

family privacy. Matters falling within the exercise of parental discretion include providing food. (This is clearly not a case of true child neglect, where Daughter's parents have failed to provide sufficient food at all.) Clark, *supra*. Therefore, it is unlikely that Daughter could successfully maintain a lawsuit against her parents for not giving her more calcium in her diet.

Point Three:

(30-40%) Both a claim for negligent infliction of emotional distress and a claim for loss of consortium are likely to fail because Emily was not married to Frank at the time of the accident.

In many jurisdictions, when a bystander witnesses an accident which kills or seriously injures a close family member, and the bystander suffers from severe emotional distress, there may be a cause of action against the tortfeasor for negligent infliction of emotional distress. See W. Page Keeton & William L. Prosser, PROSSER & KEETON ON TORTS § 54 (5th ed. 1984); *Dillon v. Legg*, 441 P.2d 912 (Cal. 1968). In this situation, Emily witnessed the accident, which was due to Husband's negligence. After Frank's death (which occurred while she was holding him), she suffered the severe distress required to pursue a tort action.

The problem for Emily's recovery, however, is that she was not Frank's wife. At the time of his death, they were engaged and were cohabiting.

A majority of jurisdictions would be unlikely to expand liability, even to a cohabiting fiancée. This reluctance is based on the difficulties of determining which cohabitants should be allowed to recover and problems of proving the importance of the relationship. See *Elden v. Sheldon*, 758 P.2d 582 (Cal. 1988). Some courts might also take the position that recognition of cohabitants' rights in this cause of action would undermine the strong public policy in support of marriage. Harry D. Krause, FAMILY LAW IN A NUTSHELL § 6.5 (3d ed. 1995).

On the other hand, some jurisdictions have allowed engaged cohabitants to recover in a tort suit of this type. See, e.g., *Dunphy v. Gregor*, 642 A.2d 372 (N.J. 1994); Krause, *supra*, § 6.3. Emily would argue that her claim should be recognized. Her relationship with Frank was like that of a husband and wife. They lived together and were to be married in a week. Witnessing his death was emotionally devastating to her. She had strong emotional ties to Frank, and she should receive compensation for her severe loss.

Emily might also try to bring a loss of consortium claim. This tort, which is recognized in almost all U.S. jurisdictions, is intended to compensate a spouse for loss of such things as the other spouse's companionship, sexual relations, and affection. See *Millington v. Southeastern Elevator Co.*, 239 N.E.2d 897, 899 (N.Y. 1968); Laura M. Raisty, Note, *Bystander Distress and Loss of Consortium: An Examination of the Relationship Requirements in Light of Romer v. Evans*, 65 Fordham L. Rev. 2647, 2650-51 (1997). While originally only the husband could recover for loss of consortium, the right was extended to wives during the mid-twentieth century. See, e.g., *Hitaffer v. Argonne Co.*, 183 F.2d 811 (D.C. Cir. 1950). Compensation for loss of consortium typically is available only to the legally recognized spouse of the injured party, not to a fiancée or cohabitant. Raisty, *supra*, at 2652. Thus, Emily would not have a claim for loss of consortium because she and Frank were not yet married.

Note: Emily might also try to bring a suit for wrongful death, a statutory tort unrecognized at common law. It is intended to compensate family members for the death of a relative, typically a spouse, child, parent, etc. Again, however, since Emily and Frank were not married, Emily would not have a claim worth pursuing.

COMMERCIAL PAPER II.D; IV.A, G; V.H; VII.A

Question 6 Analysis

Legal Problems:

- (1) Is an instrument that is not negotiable because of omissions still enforceable if the payee fills in the blanks consistent with the payee's underlying agreement with the maker?
- (2) Can a person without physical possession of an instrument still enforce the instrument in a case where the instrument has been stolen?
- (3) Is the obligor on an instrument discharged by paying the instrument in good faith where there has been a forgery of the payee's signature?
- (4) Does the obligor on an instrument who pays the instrument that has a forged payee's signature have any rights of recovery against the party that presented the instrument for payment?

DISCUSSION

Point One:

(15-25%) Because Lender filled in the two blanks according to his actual agreement with Borrower, the note is enforceable as completed.

Before Lender filled in the blank lines on the note form, the note that Borrower gave Lender was not negotiable. That is because one of the requirements of negotiability under Article 3 of the Uniform Commercial Code is an unconditional promise to pay a fixed amount of money. UCC § 3-104(a) (1991). In this case, the amount due line was left blank by Borrower, the issuer of the note. Therefore, the note was an "incomplete instrument" under § 3-115(a). It is an instrument because Borrower signed the note and issued it to Lender; it is incomplete because the two lines for payee and amount due were left blank.

Section 3-115(b) indicates that an instrument that is not negotiable because of omissions is still enforceable "according to its terms as augmented by the completion." However, if the words or numbers were added to the incomplete instrument without the authority of the signer, the instrument is treated as an altered instrument and special rules apply.

In this case, although there was no mention of specific authority given by Borrower to Lender to fill in the blanks, the burden would be on Borrower to show lack of authority. UCC § 3-115(d). Because Lender did fill in the blanks consistent with the actual agreement of the parties, it seems likely that authority would be presumed. *See* Official Comment 2 to § 3-115 (1991). ("If the payee completes the note by filling in the due date *agreed to by the parties*, the note is payable on the due date stated.") (Emphasis added.)

(By leaving the payee space blank, Borrower made the note a bearer instrument, which the bearer could convert to an order instrument by filling in his name. 2 James J. White & Robert S. Summers, UNIFORM COMMERCIAL CODE § 17-3 (4th ed. 1995). Failure to include a payee does not diminish the negotiability or enforceability of the instrument.)

Point Two:

(25-35%) Because Lender was entitled to enforce the instrument at the time it was stolen, Lender would still be able to enforce it if Lender can prove the terms of the note and provide adequate assurance to Borrower against the risk of possible loss for future claims.

Even though Lender no longer has physical possession of the note, Lender would still be able to qualify as a “person entitled to enforce” the instrument under UCC § 3-301 (1991). Section 3-301(iii) specifically refers to a person who is not in possession of an instrument as nevertheless being entitled to enforce the instrument under § 3-309. Section 3-309(a) contains three requirements that enable a person not in possession of an instrument to enforce it. In this case, Lender satisfies all three requirements: (1) Lender was the person entitled to enforce the instrument when loss of possession occurred; (2) Lender’s loss of possession was not the result of his own transfer or of a lawful seizure; and (3) the whereabouts of the note are unknown to both parties, at least before Borrower paid Innocent.

Section 3-309(b) requires that Lender prove both the terms of the instrument and his right to enforce it. Neither should be problematic in this case. Lender would have to give Borrower assurances against double payment because Borrower, by the terms of § 3-309(b), would be entitled to demand adequate protection against possible loss from future claims on the missing note.

Point Three:

(25-35%) Given the forgery of the payee’s signature, Innocent did not qualify as a person entitled to enforce the instrument, and thus Borrower was not discharged by paying Innocent.

Under UCC § 3-602(a) (1991), the obligor on an instrument is ordinarily discharged by paying a person entitled to enforce the instrument. Borrower will not get the benefit of a discharge in making the payment to Innocent because Innocent does not qualify as a “person entitled to enforce” the instrument. In order for Innocent to be a person entitled to enforce the instrument under § 3-301, Innocent must be either a holder or a person who has the rights of a holder.

Innocent cannot be a holder because the chain of good title was broken by Robber’s forged indorsement of the payee’s (Lender’s) signature. UCC § 3-201(b) (1991) provides that, “If an instrument is payable to an identified person, negotiation requires transfer of possession of the instrument *and its indorsement by the holder*” (emphasis added). *See also* UCC § 1-201(20) (1989) (A “holder” of a negotiable instrument means “the person in possession if the instrument is payable to bearer or, in the case of an instrument payable to an identified person, if the identified person is in possession.”) Nor will Innocent qualify as a nonholder entitled to enforce the instrument because Innocent inherits only the rights of Robber, which are nonexistent because of the theft and forgery. Accordingly, Innocent was not a person entitled to enforce the note, and Borrower’s payment to Innocent does not discharge Borrower.

Point Four:

(15-25%) Because Innocent was not entitled to enforce the instrument, Borrower may recover from Innocent for breach of presentment warranty.

Even though Innocent knew nothing about either the theft or the forgery, Innocent nevertheless breached a presentment warranty to Borrower under UCC § 3-417(d)(1) (1991). At the time Innocent presented the note to Borrower for payment, Innocent was warranting to Borrower that Innocent was “a person entitled to enforce the instrument or authorized to obtain payment on behalf of a person entitled to enforce the instrument.” *Id.* As noted above, Innocent cannot be a person entitled to enforce the instrument because of Robber’s forgery of a necessary signature in the chain of title. Therefore, under § 3-417(d)(2), Innocent will be liable to Borrower for the amount that Borrower paid Innocent plus interest and expenses resulting from the breach of the presentment warranty.

CORPORATIONS IV.B, VI.A, VI.B

Question 7 Analysis

Legal Problems:

- (1) What is the applicable legal standard when a shareholder brings a derivative action based on breach of a director's fiduciary duties?
- (2)(a) Do directors violate their duty of care to the corporation when they vote to recommend action after only one hour of discussion?
- (2)(b) Does a director violate her duty of loyalty to the corporation when she votes to issue herself shares of the corporation?
- (3) If the court finds sufficient evidence of a breach of a fiduciary duty to overcome the Business Judgment Rule (BJR), can the director prevail with a defense of (i) disinterested director approval, (ii) shareholder approval, or (iii) fairness?

DISCUSSION

Summary:

The Class B Shareholder is unlikely to prevail in this derivative action. Ordinarily, the Business Judgment Rule (BJR) would preclude the court from second-guessing the board of directors on an issue of this sort (i.e., how best to finance a business expansion). In this case, however, even though the directors did not breach their duty of care to the corporation, Dart clearly did breach the duty of loyalty by voting to cause the corporation to enter into a transaction that provided her with a financial benefit. Because of the breach of the duty of loyalty, the BJR does not immunize the transaction from scrutiny. Nevertheless, the court would not enjoin the transaction because it was carried out in a manner that removes the taint of the breach of loyalty.

Point One:

(5-10%)

In a shareholder derivative action, decisions of the board on business issues are presumptively correct under the Business Judgment Rule (BJR).

In order to prevail in this derivative action to enjoin the issuance of Class C Preferred, the Class B shareholder must overcome the BJR. The BJR is a legal presumption. Absent a showing that the directors have violated a fiduciary duty to the corporation or committed fraudulent or illegal acts, the court will not second-guess their judgments. *See Davis v. Louisville Gas & Electric Co.*, 142 A. 654, 659 (Del. Ch. 1928) (court refused to enjoin the directors from amending the certificate of incorporation, stating "it is not [the court's] function to resolve . . . questions of policy and business management. The directors are chosen to pass upon such questions and their judgment unless shown to be tainted with fraud is accepted as final.")

If the Class B shareholder puts forth sufficient evidence to demonstrate that the directors breached a fiduciary duty to Ergo, the BJR will no longer apply.

Point Two(a):

(25-35%) Although the directors discussed the matter for only one hour, they did not violate their duty of care to Ergo when they voted to recommend to shareholders the amendment to the Articles.

Directors owe a duty of care to Ergo; they must act on an informed basis, in good faith in the honest belief that the action taken is in the best interest of the corporation. *See Aronson v. Lewis*, 473 A.2d 805, 812 (Del. 1984). Under the Revised Model Business Corporation Act (RMBCA), directors are required to discharge their duty “in good faith and in a manner the director reasonably believes to be in the best interests of the corporation.” RMBCA § 8.30(a). When becoming informed to make a decision, directors must discharge their duty “with the care that a person in a like position would reasonably believe appropriate under similar circumstances.” RMBCA § 8.30(b). The duty of care is procedural (process oriented), not substantive.

The facts do not support an argument for lack of good faith or failure to act “with the care that a person in a like position would reasonably believe appropriate under similar circumstances.” RMBCA § 8.30(b). Even if the other funding alternatives might have been better for Ergo, directors are not liable for bad decisions so long as they follow the appropriate procedures, which they did here. *See Kamin v. American Express Co.*, 383 N.Y.S.2d 807 (N.Y. Sup. Ct. 1976), *aff’d*, 387 N.Y.S.2d 993 (N.Y. App. Div. 1976).

The directors spent only one hour considering and deciding the issue. In *Smith v. Van Gorkom*, two hours was held insufficient for a major corporate decision. *See Smith v. Van Gorkom*, 488 A.2d 858 (Del. 1985) (Duty of care violated when directors approved a merger after a 20-minute oral presentation without reviewing the documents or assessing the valuation at a meeting that was called without much notice.) However, courts are generally concerned with major corporate decisions, like the sale of control in *Van Gorkom*. *See Cede & Co. v. Technicolor, Inc.*, 634 A.2d 345, 370 (Del. 1993). In Ergo’s case, the issue was only the source of funding, as the directors had already properly approved the expansion plan.

Point Two(b):

(10-20%) Dart violated her duty of loyalty to Ergo when she voted to issue the Class C Preferred to herself.

The duty of loyalty requires a director to put the interests of the corporation before the director’s own interests. If a director enters into a transaction with the corporation that provides the director with financial benefit, it is a violation of the duty of loyalty. The purchase of the Class C Preferred by Dart is a transaction with Ergo that provides Dart with a financial benefit. Therefore, Dart violated her duty of loyalty to Ergo when she voted to issue the Class C Preferred to herself. This was also a conflicting interest transaction under the RMBCA because Dart knew she could benefit. RMBCA § 8.60.

Dart has a conflicting interest transaction because, at the time she voted to issue the Class C Preferred to herself, she knew she had a significant financial interest.

Point Three:

(35-45%) Although the directors did not violate their duty of care to Ergo, Dart violated her duty of loyalty. Regardless, the court would not enjoin the issuance of the Class C Preferred because Dart could show the transaction was (1) approved by a majority of disinterested directors after full disclosure, (2) approved by a majority of shareholders after full disclosure, or (3) fair to Ergo.

Even though the directors did not violate their duty of care, Dart violated her duty of loyalty to Ergo, and that fact prevents the application of the BJR. Nonetheless, the court would NOT enjoin the issuance of the Class C Preferred if Dart could demonstrate that the sale of Class C Preferred to her was (1) approved by a majority of disinterested directors after full disclosure, (2) approved by a majority of shareholders after full disclosure, or (3) fair to Ergo. *See* Robert C. Clark, CORPORATE LAW § 5.2 (1986); Revised Model Bus. Corp. Act (RMBCA) §§ 8.61-.63. In this case, Dart can demonstrate all three.

Disinterested Director Approval: All seven directors voted to offer the Class C Preferred to Dart after full disclosure of all material facts relating to the transaction. Disclosure of all material facts constitutes full disclosure. Approval must also be by a majority of disinterested directors. Dart is interested because she is a party to the transaction. The three remaining Class A directors are arguably interested because their positions as Ergo directors are dependent upon election by Dart, the sole Class A shareholder. If they failed to support Dart, Dart could remove them from their positions as directors. The three Class B directors, however, are disinterested directors. They all voted in favor of issuing the shares to Dart. Therefore, a majority (indeed all three) of the disinterested directors approved the offering of the Class C Preferred to Dart. Under the RMBCA (and most state statutes), the three disinterested directors who voted are sufficient to constitute a quorum when voting on a conflicting interest transaction.

Shareholder Approval: According to the facts, the proxy solicitation provided full disclosure of all relevant information regarding the plan to issue the Class C Preferred to Dart for \$5 million. The fact that the directors did not disclose that they had considered and discarded other financing options is unimportant because information on other options was properly considered and discarded. All Class A shares voted in favor of the transaction, as did a majority of Class B shares (720,000 of 820,000 shares). Therefore, a majority of shareholders approved the transaction after full disclosure. Note that there is no requirement that the shareholders be disinterested.

Fair: Alternatively, Dart can show that the transaction was fair to Ergo at the time the Class C Preferred shares were issued. In assessing fairness, directors may rely on expert opinions. *See* RMBCA §8.30(e). To demonstrate that the price was fair to Ergo, Dart would offer the opinion of the independent investment bank stating that (1) \$5 million would be fair value for the Class C Preferred, and (2) in the long run, payment of the Class C Preferred dividend would be less costly to Ergo than interest payments on a loan.

July 2002

SECURED TRANSACTIONS V.A

Question 1 Analysis

Legal Problems:

- (1) Does a secured party have the right to a self-help repossession without prior notice of default to the debtor and without judicial process?
- (2) Under the circumstances of this case can it be reasonably argued that the repossession was carried out in breach of the peace?

DISCUSSION

Summary:

After a debtor's default, a secured party may take possession of the collateral without notice and without judicial process. However, this right to self-help repossession exists only if the repossession can be accomplished without a "breach of the peace," a standard that the UCC leaves to the courts to define. Because the "breach of the peace" standard is open-ended and subject to judicial interpretation, the outcome of this case cannot be definitively stated. But the facts provide a basis for Debtor to make a reasonable argument that Uptown should have abandoned its attempt at self-help repossession and relied on judicial process to enforce its claim. First, Debtor had made it clear to Uptown that she would resist non-judicial repossession, and Uptown relied on trickery to avoid that resistance. A number of courts disfavor such "fraudulent" conduct by creditors. Second, the repossession was arguably done by an unauthorized entry into Debtor's "home," required "hot-wiring" of the motor home (ordinarily the act of a thief), and involved the incidental (but intentional) seizure of possessions of Debtor to which Uptown had no lawful claim. Such "trespassory" conduct may also be disfavored. In addition, the creditor's use of a police officer (without securing judicial approval) is also treated by courts as improper, though the police officer did not actually effect this repossession.

Point One:

(20-30%)

Following default, a secured party has the right to take possession of the collateral without prior notice of default and without judicial process.

The secured party's right to repossess the collateral arises on the debtor's default. UCC § 9-609. There is nothing in the Code that requires the secured party to give either notice of default or notice of intent to repossess. Repossession can be through self-help and without the need to commence

judicial proceedings. *Id.* The only limitation is that the repossession must be accomplished without a breach of the peace. *Id.*

Under the facts, Debtor, having missed “several monthly payments,” was clearly in default. Accordingly, Uptown was free to proceed with the self-help remedy of repossession.

Point Two:

(70-80%) Debtor could argue that Uptown’s repossession was in breach of the peace because it involved an unconsented entry into Debtor’s place of residence, it was accomplished by “hot-wiring” the vehicle, it enlisted the aid of a law enforcement officer, and it was carried out over the verbal protests of Debtor.

UCC § 9-609 authorizes the secured party to engage in self-help “without judicial process if this can be done without breach of the peace. . . .” See Point One. The term “breach of the peace” is not defined in the Code. Rather, the drafters relied on pre-Code case law to prescribe the parameters of permissible conduct. Particularly important facts include (1) whether the creditor has entered upon the premises of the debtor and (2) whether the debtor has consented to the entry and repossession. White & Summers, UNIFORM COMMERCIAL CODE § 34-7 (4th ed. 1995). Moreover, it is the potential for violence and not necessarily the occurrence or imminence of violence that defines a breach of the peace. Ordinarily, repossession of a vehicle from a driveway or public street or parking lot would not be found, without more, to be in breach of the peace. The matter is complicated in this case, however, because the motor home could be viewed as Debtor’s residence.

Most courts would find that an unauthorized entry into the residence of a debtor would, in and of itself, constitute a breach of the peace. *Id.* In this situation, if the motor home is viewed as Debtor’s home, it is likely that unauthorized entry would be held to be trespassory and a breach of the peace. The fact that Debtor lived in the motor home and it contained Debtor’s “clothes and other stuff” supports Debtor’s claim that the motor home was her residence, so that the unauthorized entry would be a breach of the peace. Any effort to take the motor home in that manner probably would be considered a breach of the peace.

Debtor might also argue that her initial objection was enough to preclude any further attempts at self-help repossession without her consent. Under this view, the fact that the repossession occurred a couple of weeks later and under circumstances where there was little potential for violence probably would not change the outcome. It was clear that Debtor opposed the repossession and would have resisted had she known that the motor home was about to be taken. On the other hand, it can be argued that the passage of time served to cool down the threat of violence. See *Wade v. Ford Motor Credit Corp.*, 668 P.2d 183, 189 (Kan. Ct. App. 1983). If so, Debtor’s initial objection to repossession is irrelevant to an evaluation of the later action.

Even though Uptown’s entry into the motor home was accomplished without force, the fact that Ernest, the employee, “hot-wired” the engine might arguably be found to be a breach of the peace. See, e.g., *General Electric Credit Corp. v. Timbrook*, 291 S.E.2d 383 (W.Va. 1982)(breaking lock to debtor’s mobile home in order to gain entry constituted breach of peace); *Martin v. Dorn Equipment Co.*, 821 P.2d 1025 (Mont. 1991)(cutting locked chain on ranch gate constituted breach of peace).

The fact that the repossession was accompanied by trickery (i.e., the fictitious coupon) may matter. The courts go both ways. See, e.g., *F.A. North & Co. v. Williams*, 13 A. 723 (Pa. 1888) (trickery is

not a breach of the peace); *Ford Motor Credit Co. v. Byrd*, 351 So. 2d 557 (Ala. 1977) (trickery is a breach of the peace). The fact that the deputy sheriff was standing by does not contribute to a finding of breach of the peace because the deputy did not participate or serve to intimidate Debtor. White & Summers, *supra*. There is no evidence that Debtor saw the deputy or was at all affected by the deputy's presence.

The argument could go either way. On balance, however, a court would probably find a breach of the peace under the circumstances and that the repossession was unlawfully carried out

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DECEDENTS' ESTATES II.A, II.J, IV.C, IV.D

Question 2 Analysis

Legal Problems:

- (1) Is Nephew liable in wrongful death for causing Testator's death?
 - (a) Was Testator's durable health care power of attorney validly executed?
 - (b) Was Nephew, a beneficiary under Testator's will and a witness to Testator's health care power of attorney, prohibited from acting as an agent?
- (2) Can the nieces successfully challenge the will because Testator lacked the mental capacity to execute her will?
- (3) Does Nephew forfeit the bequest under the interested witness statute?

DISCUSSION

Summary:

Nephew would not be liable in wrongful death if, as it appears, he acted under a valid durable health care power of attorney and in good faith. His decision to direct the withdrawal of life support was entirely consistent with the doctor's medical advice.

Testator's will appears to have been validly executed. Arguments that Testator lacked mental capacity should fail because the facts show that she knew both the objects of her bounty and the nature and extent of her property.

Lastly, Nephew would not forfeit his share under typical state interested witness statutes because the will bequeathed him a share less than what would have been his intestate share. Likewise, under the UPC, he would take his share as that statute has no interested witness forfeiture statute.

Point One: (35-40%)

Under the typical durable health care power of attorney statute, if Nephew acted under a valid durable health care power and in good faith, he would be shielded from civil liability that might otherwise arise as a result of his directing the withdrawal of the life-support systems.

The typical durable health care power of attorney statute immunizes the agent of the principal from civil liability for health care decisions made in good faith. *See, e.g.,* Unif. Health Care Decisions Act

§ 9(b)(1993). Health care decisions include the decision to withhold or withdraw life-sustaining treatment, including food and hydration. *See* Unif. Health Care Decisions Act § 1(6).

Agents act within the scope of the statute when they act pursuant to a properly executed durable health care power of attorney. State laws vary, however, on whether the person designated as the agent can be a witness to the durable health care power of attorney. For example, under the Uniform Health Care Decisions Act, the designated agent is not prohibited from being a witness. In fact, under the Uniform Act, no witnessing of the power is required. On the other hand, in many states, the person designated as the agent cannot be a witness to the power.

Even if Nephew was not legally constituted as Testator's agent, he may nonetheless have acted appropriately under so-called "family consent" laws. These laws permit close family members (typically in the order listed in the statute) to act as a surrogate decision maker for a patient where there is no properly authorized agent acting under a durable power. For example, under § 5 of the Uniform Health Care Decisions Act, Nephew could act as a surrogate decision maker since there are no more closely related relatives and Nephew is an adult "who exhibited special care and concern for the patient."

Whether Nephew was acting as a properly constituted agent or as a surrogate under the family consent law, ultimately the issue of civil liability most likely depends on whether Nephew acted in "good faith." Here the facts suggest that he did. Testator had suffered a massive stroke and had lapsed into a coma, and Nephew's direction to withdraw Testator's life support appears to be consistent with sound medical advice to the effect that more care would be futile. While the fact that Nephew is named in Testator's will as a beneficiary may create the appearance of impropriety, this fact alone is not sufficient evidence of bad faith; empirically most agents and surrogates are persons who are both close to the principal and named as beneficiaries under the principal's will.

Point Two:

(35-40%) Testator's will is valid notwithstanding that Testator was sometimes forgetful, as the facts support the conclusion that Testator had the mental capacity to execute a will.

In order to validly execute a will, Testator must have "mental capacity." A testator has mental capacity if the testator knows (1) the nature and extent of the testator's property, (2) those persons who are the natural objects of the testator's bounty, (3) the nature of the instrument that the testator is signing, and (4) the disposition that is being made in the will. *See generally* William H. McGovern & Sheldon F. Kurtz, *WILLS, TRUSTS AND ESTATES* 272 (2d ed. 2001).

Here Testator was forgetful, which at first blush suggests the absence of mental capacity. But simply relying on that fact is insufficient to determine whether Testator had mental capacity since the criteria that determine mental capacity for purposes of validating a will look specifically to Testator's understanding of her property interests, her beneficiaries, and her disposition. On these issues, the facts suggest that Testator did have mental capacity.

Testator appears to have been actively involved in the management and administration of her property affairs, suggesting that she knew the nature and extent of her property. She knew those persons who might be the objects of her bounty as evidenced by the fact that she frequently visited with her 20 relatives, including those not mentioned in her will. Furthermore, the bulk of her estate is bequeathed to Charity, an organization with which she had had a long association. Thus, the will

does not reflect a disposition that would likely be inconsistent with Testator's testamentary intent. Given that the burden of proof to establish the lack of testamentary capacity rests on the contestants, it is most unlikely that they could sustain that burden on these facts.

Point Three:

(20-30%) Nephew would not forfeit any of his bequest under the will.

Under the Uniform Probate Code, Nephew would not forfeit his bequest even though Nephew was a witness to the will because the Code does not have an interested witness statute barring interested witnesses from taking under a will.

At common law, if a will was not witnessed by two disinterested witnesses the will was invalid. *See* McGovern & Kurtz, *supra*, at 177. In the United States, this harsh rule has been replaced by statutes in most states barring the interested witness from taking the bequest but not invalidating the will. *Id.*

The typical interested witness statute, however, contains one or two important exceptions. The first is that if the will is witnessed by three or more persons such that the will would have been valid without the witnessing by the interested witness, the interested witness does not forfeit the bequest. *Id.* That exception would not apply here as Testator's will was witnessed only by two persons.

The second exception is that if the interested witness also would have been an heir of the testator, the witness forfeits only so much of the bequest as exceeds what would have been that witness's intestate share. Under that exception, Nephew forfeits nothing, as the bequest to Nephew of \$100,000 is less than what his intestate share would have been. Nephew's intestate share would have been in excess of \$250,000, as the estate is valued at more than \$1 million and there are four heirs.

In light of the discussion under Point One, there is no reasonable basis on which to argue that Nephew's bequest is invalid under the slayer statutes.

Likewise, the facts state that Nephew was wholly unaware of the will provision in his favor. Thus, there is no basis to invalidate the will on undue influence grounds.

NOTE: If the will is valid, the nieces would probably have no standing to raise the interested witness issue. If the interested witness statute applied and the bequest, or some portion of it, were forfeited, the forfeited portion would pass to Charity as the residuary legatee under Testator's will.

FEDERAL CIVIL PROCEDURE IE, II.A, IV.D; CONFLICT OF LAWS II.B, II.D

Question 3 Analysis

Legal Problems:

- (1)(a) What effect should the federal district court give to the forum-selection clause?
- (1)(b) Is the court likely to transfer the case to State N in these circumstances?
- (2) Can a foreign-based party to U.S. litigation refuse to make its officers available for depositions on the ground that they are “beyond the subpoena power” of the court?

DISCUSSION

Summary:

A motion for transfer of a case from one federal venue to another should be granted if a transfer would serve the convenience of the parties and the witnesses, if it would be in the interests of justice, and if the transferee court would have been a proper venue in the first instance. All of these requirements are satisfied here. The existence of a freely and fairly negotiated forum selection clause favoring State N is strong evidence that State N is a convenient forum, and the facts support the conclusion that State N is generally convenient for both parties, although State A is more convenient for plaintiff. Justice also favors upholding the expectations of the parties when they have freely selected State N as an appropriate forum. The action could also have been brought in State N initially.

When a corporate party is properly before a court (and no objection to personal jurisdiction was made here), the opposing party may depose an appropriate officer or director to speak for the corporation. The deposing party does not need to rely upon the court’s subpoena power for the exercise of authority over the officer or director. A protective order is proper only if there is some other basis to oppose the deposition (e.g., the party that noticed the deposition did not proceed in accordance with the federal rules governing the timing of discovery).

Point One(a):
(25-35%)

Because Buyer is seeking to transfer the case from one federal court to another federal court, the motion to transfer is governed by 28 U.S.C. § 1404(a). State A’s policy against forum-selection clauses is irrelevant, and the forum-selection clause is an important factor the court should consider in deciding whether to grant the motion to transfer.

Motions to transfer cases from one federal court to another are governed by 28 U.S.C. § 1404(a), which provides:

For the convenience of parties and witnesses, in the interest of justice, a district court may transfer any civil action to any other district or division where it might have been brought.

Under this statute, motions to transfer are determined by weighing a number of factors, including the “convenience of witnesses and parties,” and “public-interest factors of systemic integrity and fairness.” *Stewart Org., Inc. v. Ricoh Corp.*, 487 U.S. 22, 29-31 (1988).

When a venue-transfer motion is predicated on the existence of a forum-selection clause in a contract, the forum-selection clause “will be a significant factor that figures centrally in the district court’s calculus.” *Id.* at 29. This is because “the presence of a forum-selection clause,” bears upon the “convenience of [the proposed] forum,” given the parties’ expressed preference for that venue. Thus, the court must evaluate the fairness of the proposed transfer in light of the forum-selection clause. *Id.* Further, the existence of a state law rule invalidating the forum-selection clause does not excuse the court from considering the clause as one factor bearing on the propriety of a venue transfer.

Although the forum-selection clause must be treated as a “significant factor” when the district court evaluates Buyer’s transfer motion, the Supreme Court has said that the existence of a forum-selection clause is not “dispositive.” *Id.* For instance, an inequality of bargaining power between the parties may warrant giving less effect to the forum-selection clause. Similarly, litigating in the proposed forum may impose significant and unusual hardships on one of the parties. Absent such special factors, however, many courts hold that transfer motions under § 1404(a) should always be granted when doing so will give effect to a freely negotiated and fair forum-selection clause. *See, e.g., REO Sales, Inc. v. Prudential Ins. Co.*, 925 F. Supp. 1491 (D. Colo. 1996); *Riviera Finance v. Trucking Serv., Inc.*, 904 F. Supp. 837 (N.D. Ill. 1995).

Point One(b):

(45-55%) The federal district court in State A should grant the motion to transfer because the transfer would uphold the parties’ expectations and provide them with the neutral and experienced forum for which they bargained.

Applying the factors set out in Point One(a) should lead to transfer of this action. The forum-selection clause in this case was a bargained clause in a contract between parties of apparently equal bargaining power. State N appears to be a neutral forum, and State N courts are well known for their expertise in commercial matters. Although State N does not appear to be an especially convenient forum, the parties’ decision to select that forum in their contract indicates that each party believed State N to be a reasonably convenient alternative to less desirable options, including the option of litigating in either party’s home jurisdiction. Absent some evidence to suggest that a transfer to State N would result in special hardship or a denial of justice to either party, the court is likely to take the view that the parties’ decision to select the State N forum was ample evidence of the general superiority of that forum to State A.

This conclusion is bolstered by the fact that this is an international case. In *M/S Bremen v. Zapata Off-Shore Co.*, 407 U.S. 1 (1972), the Supreme Court adopted the view that a forum-selection clause

in an international contract “should control absent a strong showing that it should be set aside.” According to the Court, the need for a neutral forum, the desirability of avoiding uncertainty about where litigation might occur, and the need for a forum with expertise in the subject matter all justify giving deference to the parties’ choice of forum when that choice is made in “a freely negotiated private international agreement, unaffected by fraud, undue influence, or overweening bargaining power.” *Bremen*, 407 U.S. at 12.

NOTE: Although *M/S Bremen* was an admiralty case, the Supreme Court has described the decision as “instructive” for other cases, including motions under § 1404(a) to transfer diversity actions. *See generally* C. Wright, A. Miller & R. Marcus, *FEDERAL PRACTICE AND PROCEDURE* § 3803.1 (1995).

A transfer under § 1404(a) must be to a “district or division” where the case “might have been brought” initially. Here, it might be argued that the case could not have been brought in State N because there are no connections with State N sufficient to give State N courts jurisdiction over the defendant. However, personal jurisdiction can be based on consent, and both parties clearly consented to State N jurisdiction in their contract. Pre-lawsuit contractual consent serves as a basis for State N service of process on the defendant corporation, and would therefore have been an adequate basis for personal jurisdiction and venue had the action been brought in State N originally. *See American Airlines, Inc. v. Rogerson ATS*, 952 F. Supp. 377 (N.D. Texas 1996). In addition, because the defendant corporation is an alien corporation, venue in a suit brought against it would be proper in any district in the U.S., including in a federal district court in State N. *See* 28 U.S.C. § 1391(d); *Naegler v. Nissan Motor Co., Ltd.*, 835 F. Supp. 1152 (W.D. Mo. 1993).

Point Two:

(20-30%) Under Federal Rule of Civil Procedure 30, Seller has the right to compel the deposition of an officer of Buyer without resorting to the court’s subpoena power.

A party to an action may secure the deposition of another party simply by providing notice to the other party. No subpoena of a party deponent is necessary, and a party is subject to sanctions for failing to provide a deponent, even if the party would be beyond the reach of the court’s subpoena power if the party were a non-party witness. *See* Fed. R. Civ. P. 30(b)(1), 37(b)(2), 37(d)(1). *See generally* Wright, Miller & Marcus, *supra*, §§ 2103, 2112 (1995).

As a corporate party, Buyer cannot speak for itself but requires a natural person to speak for it. Seller could have noticed Buyer’s deposition and required Buyer to nominate a representative to be deposed. *See* Fed. R. Civ. P. 30(b)(6). Alternatively, Seller can do what it did here—it can identify an officer or director of Buyer to be deposed as Buyer’s representative. *See, e.g., Triple Crown America, Inc. v. Biosynth AG*, 1998 WL 227886 (E.D. Pa. 1998). If the person fails to appear, sanctions are authorized by Rule 37(d)(1). *See generally* Wright, Miller & Marcus, *supra*. Hence, Buyer’s argument that its officers are “beyond the court’s subpoena power” does not present a valid reason to prevent the deposition of an officer. Buyer, as a party to the litigation, is obliged to produce its officers for deposition. Accordingly, Buyer’s request for a protective order should be denied, unless Buyer can offer sound reasons for resisting the deposition other than the simple claim that its CEO is beyond the reach of the court’s subpoena power.

NOTE: If the court had no personal jurisdiction over defendant corporation, the claim that the officers and directors are beyond the court’s subpoena power might be a colorable basis to resist the notice of deposition. The facts, however, suggest that personal jurisdiction is not a real issue. First,

any problem with the State A federal court's personal jurisdiction over defendant Buyer was waived when Buyer responded to Seller's complaint without raising the personal jurisdiction issue. (See Fed. R. Civ. P. 12(h)(1).) Second, if the case is transferred, the federal court in State N would have personal jurisdiction over defendant Buyer because of its contractual consent to the jurisdiction of that court.

COMMERCIAL PAPER IV.C, IV.H, V.H

Question 4 Analysis

Legal Problems:

- (1) Is Motors' claim against First Bank subject to the defense of failure of consideration?
- (2)(a) Did Motors' taking of the cashier's check discharge Driver's obligation to pay for the sports car under the sales contract?
- (2)(b) May Motors recover from Driver for breach of transfer warranty?

DISCUSSION

Summary:

First Bank is liable as issuer of the cashier's check to pay a person who is entitled to enforce the check. Motors is the holder of the cashier's check and is entitled to enforce it. However, Motors is not a holder in due course because the check was overdue on its face when Motors took it from Driver. Thus, First Bank can assert defenses to payment against Motors, including the defense of failure of consideration as a result of the dishonor of the check it received in payment for its cashier's check.

Driver's obligation to pay for the car was discharged when Motors accepted a cashier's check as payment. Moreover, Driver apparently was not a party to that check and did not indorse it, so Driver has no direct liability on the check, even if Bank dishonors it. However, Driver did transfer the check to Motors and therefore warranted that the check was not subject to any defenses. That warranty was breached, and Motors can recover from Driver for the breach of warranty.

Point One:

(40-50%) Motors' claim against First Bank is subject to the defense of failure of consideration. Motors had notice that the cashier's check was overdue and therefore Motors is not a holder in due course.

Motors is the holder of the cashier's check because the cashier's check is payable to Motors and Motors is in possession of it. *See* UCC § 1-201(20) (definition of holder). As a holder, Motors has a right to enforce the cashier's check against First Bank. *See* § 3-301(i) (holder's right to enforce); § 3-412 (obligation of issuer of a cashier's check).

First Bank, however, may assert a defense of failure of consideration because the Auto-Loans check that First Bank took in exchange for the cashier's check was dishonored. *See* § 3-303(b) (defense of failure of consideration); § 3-305(a)(2) (right of a holder to enforce is subject to ordinary defenses, such as failure of consideration). *See, e.g., Laurel Bank & Trust v. City National Bank*, 365 A.2d

1222 (Conn. Super. App. 1976) (bank refused to pay cashier's check because checks tendered to purchase the cashier's check were dishonored).

A holder in due course would not be subject to the defense of failure of consideration. *See* § 3-305(b) (defenses applicable to a holder in due course). Motors has met many of the requirements for becoming a holder in due course because Motors took the cashier's check in good faith, for value, and without notice of First Bank's defense. *See* UCC § 3-302(a) (requirements for holder in due course status). Motors, however, is not a holder in due course because Motors had notice that the cashier's check was overdue. *See* UCC § 3-302(a)(2)(iii) (holder in due course must not have notice that the instrument is overdue). Checks become overdue after 90 days. *See* UCC § 3-304(a)(2) (overdue instruments). A cashier's check is a "check" under UCC § 3-104(f). Motors should have known that the cashier's check was more than 90 days old on September 15 because the cashier's check was dated May 11 and thus was 126 days old.

Point Two(a):

(40-50%) Motors' taking of the cashier's check from Driver discharged Driver's obligation & (b) to pay the purchase price of the car under the sales contract. However, Driver is liable to Motors for breach of a transfer warranty because the cashier's check is subject to a defense or a claim in recoupment.

If a cashier's check is taken for an obligation, the obligation is completely discharged. *See* § 3-310(a) (effect of instrument on obligation). Accordingly, Driver's obligation to pay the purchase price of the car under the sales contract was discharged when Motors took the cashier's check in payment. (Note: At common law, this rule was referred to as the "doctrine of merger" because the underlying debt was said to be "merged" into the negotiable instrument.)

Driver is not liable on the cashier's check as a party because he did not sign or indorse it. Nothing in the problem's facts suggests that Driver indorsed the cashier's check. Accordingly, Motors could not enforce the check against Driver based on an indorsement. *See* § 3-415(a) (liability of indorser upon dishonor of an instrument) However, he did transfer the instrument. *See* § 3-203(a). When Driver transferred the cashier's check to Motors in exchange for the sports car, Driver warranted that the instrument was not subject to a defense or claim in recoupment. *See* § 3-416(a)(4) (transfer warranty). (See § 3-305(a), comment 3, for an explanation of claim in recoupment.) Driver breached this warranty because First Bank could have asserted a claim against Driver for the purchase price of the cashier's check after the Auto-Loans check was dishonored. *See* § 3-310(b)(1) (rights when an ordinary check taken for an obligation is dishonored, i.e., Driver's obligation to pay for the cashier's check is suspended until Auto-Loans' check was dishonored). Motors could recover the amount of the check in damages from Driver. *See* § 3-416(b).

FAMILY LAW IV.A, V.B, VI.F, VIII.A

Question 5 Analysis

Legal Problems:

- (1) Is the husband of a married woman who conceives a child by artificial insemination regarded as the legal father of the child if the artificial insemination was performed by a medical doctor with the husband's written consent?
- (2) If a married woman conceives a child by a man other than her husband, who is the child's legal father?
- (3) Under what circumstances can the presumption favoring custody in the legal parent be overcome?

DISCUSSION

Summary:

A child's legal parent is *presumptively* entitled to custody both because parental rights are protected by common-law and constitutional principles and because parental custody is typically consistent with a child's best interest. Under the presumption, Bert is Daughter's legal father because he consented to his wife's artificial insemination and the procedure was performed by a doctor. Bert, as Ann's husband, is also presumptively Sonny's father but this presumption is rebutted by the fact that Walt is Sonny's biological parent. Presumptively the legal parent is entitled to custody. On the facts, however, Bert may be able to rebut the presumption that Walt should have custody of Sonny. The third point considers whether, on the facts given, the presumption favoring custody in a legal parent could be rebutted.

Point One:

(10-20%) Bert is the legal father of Daughter because he consented in writing to Ann's artificial insemination, and the procedure was performed by a doctor.

Even though Bert is not the biological father of Daughter, he is regarded as her legal father in virtually all American jurisdictions because he consented to his wife's artificial insemination. The leading case is *People v. Sorensen*, 68 Cal. 2d 280, 66 Cal. Rptr. 7, 437 P.2d 495 (1968). The 1973 Uniform Parentage Act provides that a child conceived by artificial insemination by donor is the legal child of the mother's husband if he consented in writing and if the insemination was performed by a medical doctor. Uniform Parentage Act of 1973 § 5. Statutes in many states contain similar provisions. Both these conditions are satisfied here, and Bert is, therefore, the legal father of Daughter.

Point Two:

(30-40%)

Bert, as Ann's husband, is presumed to be Sonny's father. In most jurisdictions, the presumption is rebuttable. Here, Walt, the biological father of Sonny, can rebut the presumption.

At common law and under the statutes or case law of most states, a child born to a married woman is presumed to be her husband's child. Homer H. Clark, Jr., *THE LAW OF DOMESTIC RELATIONS IN THE UNITED STATES* § 4.4 at 191 (2d ed. 1988); Uniform Parentage Act of 1973 § 4; Uniform Parentage Act of 2000 § 204(a)(1). The presumption could generally be rebutted by proof of the husband's infertility or his lack of access to his wife. *See Clark, supra*.

In those states that would allow the presumption of paternity in the mother's husband to be rebutted, Walt could rebut the presumption because Bert is infertile, and because he and Ann were living apart at the time of Sonny's conception.

Because Walt can show that he is Sonny's biological father, Walt will have all the legal rights of a married father in many states. *E.g.*, Uniform Parentage Act of 1973 § 2; *In the Interest of B.G.C.*, 496 N.W.2d 239 (Iowa 1992); *In re Petition of Kirchner*, 649 N.E.2d 324 (Ill. 1995). However, in some states, Walt may still be denied the status of legal father if Walt has not attempted to assume his parental responsibilities. *Cf. In re Raquel Marie X*, 570 N.Y.S.2d 604 (App. Div. 1991) (finding father's consent to the adoption of his child was unnecessary because father's conduct did not demonstrate intent to pursue a meaningful relationship with child). Walt has offered to pay the expenses of Sonny's birth and to support Sonny, even though his offers were rejected. He also informally acknowledged paternity upon Sonny's birth, although he did not file suit or assert his paternity in a registry before Ann's death. On balance, Walt has attempted to exercise his parental responsibilities, and it would arguably violate Walt's due process rights to accord him fewer legal rights than other biological fathers. *Cf. John S. v. Kelsey S.*, 4 Cal. Rptr. 2d 615 (Cal. 1992) (invalidating California statute that allowed mother to unilaterally thwart father's efforts to become "presumed father," thereby allowing father's rights to be terminated on best interest grounds).

In some jurisdictions, however, courts have authority to exclude evidence that would rebut the presumption favoring paternity in the wife's husband if rebutting the presumption would be contrary to the child's best interest. *E.g.*, *Ban v. Quigley*, 812 P.2d 1014 (Ariz. Ct. App. 1990); *Turner v. Whisted*, 607 A.2d 935 (Md. 1992); *B.H. v. K.D.*, 506 N.W.2d 368 (N.D. 1993). Bert might argue that rebutting the presumption that he is Sonny's father is inconsistent with Sonny's best interest for essentially the same reasons discussed in Point Three below.

Point Three:

(45-55%)

Bert will argue that, as the legal father of Daughter, he is presumptively entitled to custody of her. The man who is determined to be the legal father of Sonny will argue that he is presumptively entitled to Sonny's custody. The presumption of custody in the legal father can be rebutted, although what is required to rebut the presumption varies from state to state. Bert would be likely to rebut the presumption, but Walt would not be likely to rebut the presumption.

A child's fit legal parent is presumptively entitled to custody as against a nonparent. *See* Homer H. Clark, Jr., *THE LAW OF DOMESTIC RELATIONS IN THE UNITED STATES* 811 (2d ed. 1988). In most jurisdictions, to rebut the presumption favoring custody in the legal parent, a third party must show that awarding custody to the legal parent will be detrimental to the child. *E.g.*, *Painter v. Bannister*, 140 N.W.2d 152, 156 (Iowa 1966); *Guardianship of Phillip B.*, 188 Cal. Rptr. 781,788 (Cal. App. 1983). This standard is clearly intended to be more favorable to the legal parent than is the best interest of the child test, which is used in custody disputes between parents and does not imply a preference in favor of either claimant. Some states, however, apply a best interest test to custody disputes between third parties and parents, although this test typically applies when the nonparent is living with the child and functioning as a parent. An application of the best interest standard in other situations arguably raises constitutional concerns. *Cf. Troxely. Granville*, 530 U.S. 57, 69-70 (2000) (invalidating application of visitation statute where lower court gave no weight to the presumption that fit parents act in their children's best interest).

The presumption of parental fitness applies to the man deemed to be the legal father. Bert, Daughter's legal father, benefits from this presumption, and he will undoubtedly be awarded custody of Daughter. There is no evidence that he is not the fit and proper person to have custody of her. The fact that Walt has spent "some time" with Daughter and is fond of her is not enough to rebut the presumption. Walt's best argument is that if he is awarded custody of Sonny, he should also be awarded custody of Daughter because separating Daughter from Sonny would be detrimental to Daughter. Yet, on balance, this argument would not succeed as Bert can make the same argument (and more persuasively) in the context of Sonny's custody.

It is less clear who will be awarded custody of Sonny. The presumption of parental fitness applies to the man deemed to be the legal father. See Points One and Two above. Bert has a realistic chance of rebutting the presumption if Walt is Sonny's legal father. Walt has virtually no chance of rebutting the presumption if Bert is Sonny's legal father.

Assuming Walt is Sonny's legal father, Bert will argue that it would be detrimental to award Sonny to Walt. Bert is a fit and proper parent; Ann named him as guardian in her will; Sonny is currently living with him and Daughter; and separating siblings is generally disfavored. Moreover, Bert will argue that Walt's history of physical and mental abuse present a question of his fitness for custody. Assuming Bert is Sonny's legal father, Walt will have difficulty arguing that an award of custody to Bert would be detrimental to Sonny. There are no facts given that would support this argument.

Therefore, Walt's best hope of obtaining custody of Sonny is if he is Sonny's legal father and the court rejects Bert's arguments that an award of custody to Walt would be detrimental to Sonny.

AGENCY & PARTNERSHIP 11.A, 11.B, V.

Question 6 Analysis

Legal Problems:

- (1)(a) Did Adam act with either actual or apparent authority in contracting for the Tahitian lobby decorations?
- (1)(b) Did Adam act with either actual or apparent authority in contracting with Moby for the guest room furnishings?
- (2) Does Sunrise have a claim for indemnification from Adam for either of the contracts for which Sunrise is liable?
- (3) Can Sunrise terminate Adam's agency prior to the expiration of the one- year term, and if so, is Sunrise liable to Adam for damages based on the early termination?

DISCUSSION

Summary:

Adam acted with apparent but not actual authority with respect to the contract with Tahini. Adam acted with apparent authority because Sunrise advised Tahini of the agency agreement but not of the limitations on Adam's authority. On the other hand, Adam acted with actual authority with respect to the Moby contract which was consistent with all of the terms of the agency contract between Sunrise and Adam. Thus, Sunrise is liable to both Tahini and Moby, albeit on different theories. Sunrise can seek indemnification from Adam for its liability under the Tahini contract but not under the Moby contract. Because Adam materially breached the agency contract, Sunrise can terminate that contract prior to the end of the fixed term in the contract without any liability to Adam.

Point One(a):

(20-30%) Sunrise is liable on the contract for the purchase of the Tahitian decorations because Adam acted with apparent authority.

Adam had no actual authority to purchase the Tahitian lobby items on Sunrise's behalf. Under the Restatement (Second) of Agency, actual "authority to do an act can be created by written or spoken words or other conduct of the principal which, reasonably interpreted, causes the agent to believe that the principal desires him so to act on the principal's account." Restatement (Second) of Agency § 26. Sunrise made it clear to Adam that the items had to be within the style guidelines described in Exhibit B. The Tahitian items were inconsistent with the guidelines, and thus Adam had no actual authority to purchase them.

On the other hand, Adam did have apparent authority to purchase the Tahitian lobby items on Sunrise's behalf. Under the Restatement, "apparent authority to do an act is created as to a third person by written or spoken words or any other conduct of the principal which, reasonably interpreted, causes the third person to believe that the principal consents to have the act done on his behalf by the person purporting to act for him." Restatement (Second) of Agency § 27. Sunrise had sent a letter to Tahini appointing Adam "to act on its behalf in the selection of interior floor and wall coverings, works of art, furniture, and plumbing and lighting fixtures for the Sunrise East Beach hotel." The Sunrise letter emphasized Adam's authority by stating: "Know that you deal with Sunrise when you deal with Adam on this project." Sunrise did not indicate to Tahini that there were any restrictions on Adam's scope of discretion or authority, and the facts do not suggest that Tahini had knowledge of any limitations through other means. As a result, it was reasonable for Tahini to conclude that Adam acted with authority when he ordered the decorations. Since Adam acted with apparent authority, Sunrise is liable to Tahini. Restatement (Second) of Agency § 140(b).

Point One(b):

(10-20%) Adam acted with actual authority in contracting with Moby for the guest room furnishings and therefore Sunrise is liable on the contract.

When Adam contracted with Moby for the guest room furnishings, he was within the budget and style limitations required by Sunrise and Moby was a local supplier. Therefore, he acted within the scope of the actual authority granted by Sunrise. Restatement (Second) of Agency § 26. Because Adam acted within the scope of the grant of actual authority, Sunrise is liable on the contract to Moby for the guest room furnishings. In addition, Adam also acted with apparent authority because Moby received the letter from Sunrise. See Point One(a) above.

Point Two:

(10-20%) Sunrise has a claim against Adam for the amount of Sunrise's liability to Tahini but does not have a claim against Adam for its liability to Moby for the guest room furnishings.

Sunrise has a claim against Adam for the amount of its liability to Tahini because Adam did not act within the scope of his actual authority and, therefore, breached his duty to follow directions. Restatement (Second) of Agency §§ 399, 401.

Sunrise has no claim against Adam for reimbursement of its liability to Moby for guest room furnishings because Adam acted within the scope of his grant of authority. Restatement (Second) of Agency § 399. He followed directions and fulfilled his fiduciary obligations.

Point Three:

(20-30%) Sunrise can terminate Adam's agency at any time and end Adam's authority to bind Sunrise. Early termination of Adam's agency may expose Sunrise to liability for damages to Adam, but in this case Sunrise has a defense to such a claim.

Although the general rule is that authority conferred for a specific time terminates at the expiration of the period, Restatement (Second) of Agency §§ 105 and 118 provide that: "[a]uthority terminates

if the principal . . . manifests to the [agent] dissent to its continuance.” Therefore, Sunrise may terminate Adam as its agent at any time, including before the end of the one-year term.

The principal has the power to terminate the agency even in violation of the agency contract: “The principal has power to revoke . . . although doing so is in violation of a contract between the parties . . .” Restatement (Second) of Agency § 118 cmt. b. However, the principal “has a duty not to repudiate or terminate the employment in violation of the contract of employment.” Restatement (Second) of Agency § 450. In such a situation, the principal may be liable to the agent for damages. Restatement (Second) of Agency § 455.

Given Adam’s deviation from the terms of his contract with Sunrise, Adam is not likely to recover from Sunrise for early termination. First, if a termination is based upon the agent’s breach of contract, then the principal has an offset against the agent’s damages. Restatement (Second) of Agency § 456. Second, “[a] principal is privileged to discharge before the time fixed by the contract of employment an agent who has committed such a violation of duty that his conduct constitutes a material breach of contract.” Restatement (Second) of Agency § 409(1). That appears to be the case in this situation.

TRUSTS & FUTURE INTERESTS IB, ID, II.A, II.C, III.A, III.B

Question 7 Analysis

Legal Problems:

- (1)(a) Can Testator's probate estate be disposed of according to the terms of a revocable inter vivos trust that was not executed in accordance with the Statute of Wills?
- (1)(b) Assuming the probate estate assets can be disposed of as a part of the revocable trust, do the terms of the trust in existence at the time the will was executed, or rather those as reflected in the subsequent amendment, apply?
- (2) Are the terms of the trust in favor of Wanda, Testator's former wife, revoked by operation of law because of their divorce?
- (3) Assuming the terms of the trust amendment apply, what is Hope's interest under the revocable trust?

DISCUSSION

Summary:

The disposition of Testator's estate is governed by the will and the terms of the revocable trust as amended. Absent a governing statute or case law to the contrary, divorce does not revoke the provisions of a revocable trust in favor of a former spouse. Furthermore, if that interest is alienable and devisable (as is here the term interest in income), upon Wanda's death it would pass to Hope, the legatee under Wanda's will. As for Adam's interest in the remainder, which is limited to "surviving children," if governing law requires him to be alive when Wanda's two-year term ends, his interest fails since he died before the term ended. The remainder, thus, passes wholly to Testator's surviving children, Ben and Carrie.

Point One(a):

(15-20%) Under the Uniform Testamentary Additions to Trust Act, a will may pour over the probate estate assets to the trustee of an unfunded inter vivos trust even if the trust instrument was not executed in accordance with the Statute of Wills.

At common law, the terms of the revocable trust could control the disposition of the testator's probate estate under the doctrine of incorporation by reference. Under this doctrine, if the will referred to an unattested document that was in existence at the time the will was signed, the terms of that document could be given effect in the same manner as if it had been properly executed. *See generally State Street Bank & Trust Co. v. Reiser*, 389 N.E.2d 768 (Mass. 1979).

This doctrine is no longer necessary to validate the so-called “pour over” will because of the almost universal enactment of the Uniform Testamentary Additions to Trust Act (1983) (UTATA). Unif. Prob. Code § 2-511. Under UTATA, a trust, even an unfunded trust, as here, can be the beneficiary of the testator’s probate estate so long as the trust is identified in the testator’s will and its terms are set forth in a written instrument. The validity of the pour over arrangement is unaffected by the fact that the trust was amended after the execution of the will.

Point One (b):

(15-20%) Under the Uniform Testamentary Additions to Trust Act, the disposition of the probate estate assets are governed by the terms of the revocable trust, including all amendments to the trust.

Under the incorporation by reference doctrine, the terms of the amended revocable trust would not apply to the disposition of the probate estate assets as that amendment was not in existence when the will was executed. Under the Uniform Testamentary Additions to Trust Act, however, the amendment applies. Unif. Prob. Code § 2-511(b). Thus, as of Testator’s death, the probate estate assets are to be held by Bank in trust to pay the income to Wanda for two years, and then to distribute the trust principal to Testator’s surviving children.

Thus, the will and amended trust govern the disposition of Testator’s estate.

Point Two:

(20-30%) Under the laws of most states today, Wanda’s two-year term interest is not revoked by the divorce. Therefore, the trustee should hold the trust property and pay her the income for the next two years in accordance with the amended trust terms.

Many probate codes provide that if, subsequent to the execution of a will, the testator and the spouse are divorced, provisions in a will in favor of the former spouse are automatically revoked by operation of law. In such case, the property that would have passed to the spouse is disposed of as if the spouse had predeceased the decedent. If Testator had created a testamentary trust, then under such a statute, Wanda’s two-year income interest would have been revoked by operation of law.

Here, however, Wanda’s interest is created under the terms of the revocable trust. Typically, state statutes affecting a divorced spouse’s interest under a will are inapplicable to interests created under a revocable trust and, therefore, Wanda’s interest is not revoked.

However, the law in this regard is slowly changing. For example, § 2-804 of the Uniform Probate Code would cause Wanda’s two-year interest in the revocable trust to be revoked upon her divorce from Testator. Some states have judicially reached that result by viewing the will and revocable trust as integrated estate planning documents and treating the probate statute’s revocation of the spouse interest upon divorce as reaching the trust as well. *See Clymer v. Mayo*, 473 N.E.2d 1084, 1093 (Mass. 1985). *See also* Unif. Trust Code § 112. Of course, if her interest is revoked, then nothing passes to Wanda under the trust after Testator’s death.

Point Three:

(35-40%)

Assuming Wanda had an interest in the trust, it would pass under her will to Hope since an interest for a two-year term does not terminate at death. Whether University has an interest in the trust depends on whether the phrase “surviving children” means surviving Testator or surviving the two-year period set aside to pay the income to Wanda.

Trust interests are alienable, devisable, and descendible unless the terms of a trust expressly or impliedly provide otherwise.

Here, Wanda has a two-year term, which is devisable in the event she were to die within that period. Since Wanda has died prior to the expiration of the two-year term, her interest passes to Hope, the sole beneficiary of her estate. See Point Two.

University has an interest only if Adam had an interest. Whether Adam had an interest depends on whether the word “surviving” in the gift to Testator’s “surviving children” means “surviving Testator” or “surviving the two-year period.”

The preferred rule is to construe the word to mean surviving to the time of distribution. Under this rule, only those children of Testator alive two years after his death are entitled to the trust principal. *See generally* Simes & Smith, *THE LAW OF FUTURE INTERESTS* § 577 (3d ed. 1956). This would, of course, exclude Adam; if Adam has no interest to devise, then University, the beneficiary under Adam’s will, would have no interest in the trust either.

On the other hand, in some states, surviving refers to surviving Testator. Under this interpretation, each of Testator’s three children—Adam, Ben, and Carrie—had vested interests in the trust principal as of Testator’s death. Vested interests are not forfeited even if the beneficiary dies within two years of Testator. Given that trust interests are devisable, the vested interest of Adam would pass under his will solely to University, at least under the common law. Construing “surviving” to mean surviving Testator results in the trust remainder vesting at the earliest time.

Under the Uniform Probate Code, the analysis would be somewhat different. Section 2-707(b)(3) provides that the word “surviving” does not evidence any intent that § 2-707 not apply, as that word often does under anti-lapse statutes on which § 2-707 is modeled. Under § 2-707(b), if a class gift is limited in favor of a class of children, only those children alive at the time of distribution are entitled to possession of the property (Ben and Carrie). However, if a deceased child left surviving issue, such issue would take the deceased child’s share. Here, because Adam had no such descendants, the general rule applies and only those children of Testator alive at the time of distribution (Ben and Carrie) are entitled to possession. Under the Code, therefore, University would have no interest.

2003 MEE
Questions and Analyses

2003 MEE Questions and Analyses

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Preface

This publication includes the questions and analyses from the February 2003 and July 2003 Multistate Essay Examinations. Each test includes seven questions; most jurisdictions that use the MEE select the six questions their applicants will answer.

The model analyses to the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions for the sole purpose of assisting graders in grading the examination. These models are not an official grading guide. Some jurisdictions grade the MEE on the basis of state law, and jurisdictions are free to modify the analyses as they wish, including the suggested weights given to particular points. Grading of the MEE is the exclusive responsibility of the jurisdiction using the MEE as part of its admissions process.

The topic or topics covered by each question are listed on the first page of its accompanying analysis, followed by Roman numerals which refer to the MEE subject matter outline for that topic. For example, Question 4 on the February 2003 MEE tested Agency and Partnership I, agency relationships, II.B, apparent authority, and III, vicarious liability of principal. Subject matter outlines are included in the *MEE Information Booklet* and can also be found at www.ncbex.org.

Description of the MEE

The MEE is a three-hour examination consisting of six questions. The examination is administered in one continuous three-hour time period. Applicants are expected to spend approximately thirty minutes answering each of the questions. The areas of law covered by the questions in the examination are: Agency and Partnership, Commercial Paper, Conflict of Laws, Corporations and Limited Liability Companies, Decedents' Estates, Family Law, Federal Civil Procedure, Sales, Secured Transactions, and Trusts and Future Interests. Some questions include issues in more than one area of law.

The purpose of the MEE is to test the applicant's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the applicant to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test form contains the following instructions:

Do not break the seal on this booklet until you are told to begin.

You will have three hours in which to write your answers to six of the seven questions contained in this booklet; you will be told which of the questions you are to answer. Each question is designed to be answered in thirty minutes. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise, simply draw a line through the material you wish to delete.

Read each fact situation very carefully and do not assume facts which are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show: an understanding of the facts; a recognition of the issues included; the applicable principles of law; and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Some jurisdictions instruct applicants to answer MEE questions according to the law of the jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

FEBRUARY 2003

Questions

Question 1

Testator was an 80-year-old mentally alert widow. Testator retained Lawyer to prepare her will naming Charity, a charitable organization, as the sole beneficiary of her estate. One week later, Testator received a photocopy of a proposed will that Lawyer had prepared for her.

A few days later, on October 1, 1998, Lawyer called Testator to inquire whether the proposed will conformed with her wishes. When Testator responded that it did, Lawyer suggested that Testator make an appointment to come to his office so that she could execute the original, which was in his possession. Testator responded that, because of her arthritic condition, it would not be convenient for her to do so, and she told him, “Just go ahead and sign the will for me.” Lawyer said, “OK.”

Later that day, Lawyer inserted “October 1, 1998” as the date of execution on the original will and signed Testator’s name on the will in front of three secretaries who acted as witnesses. The secretaries then signed their names in the spaces provided on the will. All of them saw Lawyer sign Testator’s name, and each of them saw the others sign their own names. Lawyer then called Testator and told her the will had been signed and witnessed. Testator replied, “Good, now it’s done. Please keep the will for me.”

A year later, Testator decided that she wanted to change the will to give her diamond ring to her niece, Nora. Deciding to make the change herself, she asked a friend to type up a document, which was identified as “a codicil to my existing last will.” This document was then validly executed and stated, “I leave my diamond ring to my niece, Nora. In all other respects I hereby affirm my existing last will, executed on October 1, 1998.”

A year later, Testator had a falling out with Nora. Remembering that she had devised her diamond ring to Nora, she gave the ring to another niece, Betty, as a gift. Testator died a few months later. Her closest surviving relatives were her two nieces, Nora and Betty. At the time of her death, her only asset was a parcel of real estate known as “Blackacre.”

Who is entitled to Blackacre and to the diamond ring? Explain.

Question 2

Mariner owned several large fishing nets that required repairs. In January 2002, he took the nets to Chandler, who sells and repairs all kinds of new and used fishing equipment, including nets. Chandler agreed to repair and return the nets for \$4,000 payable in 45 days. Mariner issued a valid, negotiable promissory note to Chandler promising to pay \$4,000 to the order of Chandler on March 1, 2002.

Chandler repaired the nets, but did not return them to Mariner. Instead, on February 27, 2002, without Mariner's knowledge or permission, Chandler sold the nets as used goods to Trawler. At the time of the sale, Trawler was shopping for nets in Chandler's store and believed the nets belonged to Chandler.

When Mariner's note became due on March 1, 2002, he refused to pay Chandler because Chandler had not returned the nets.

On March 10, 2002, Chandler indorsed the note and sold it to Financier for \$3,500. However, Chandler did not tell Financier anything about his dealings with Mariner and Trawler. In negotiating the note to Financier, Chandler wrote the words "without recourse" above his indorsement. When Financier later presented the note to Mariner and demanded payment, Mariner refused to pay.

Despite repeated requests, Trawler has refused to return the fishing nets to Chandler or to Mariner.

1. What rights, if any, does Financier have on the note against Mariner? Explain.
2. What rights, if any, does Financier have on the note against Chandler? Explain.
3. What rights, if any, does Mariner have against Trawler for recovery of the nets? Explain.

Question 3

Husband and Wife married in State X in 1992 and resided there for the following 10 years. They have three children, ages 5, 7, and 9.

In early February 2002, Husband told Wife that he wanted a divorce and was moving to State Z for a new job. He asked Wife to let him take the children. Wife refused. The next day, Husband moved to State Z without the children.

In March 2002, six weeks after arriving in State Z (the minimum period of residence for divorce in State Z), Husband filed an action for divorce. In this action, he also sought primary custody of the three children, asserting that Wife had been violent and abusive toward him throughout their marriage.

Wife was served with the summons and complaint in Husband's action at the family home in State X. Wife, who has never been to State Z, did not answer or appear in Husband's divorce proceeding.

In July 2002, the State Z court granted Husband a default judgment granting Husband a divorce, dividing their property, awarding him primary custody of the three children, and giving Wife "reasonable visitation." Husband served Wife with the judgment.

In August 2002, Wife allowed the children to go to State Z for a two-week visit with Husband, whom they had not seen for nearly five months. This was the children's first time in State Z. At the end of the two-week period, Husband notified Wife that he would not return the children to Wife.

Wife immediately filed an action in State X for divorce, property division, and custody.

Husband appeared in Wife's State X action and contested her claims. He sought enforcement of the State Z judgment awarding him custody. He also argued that Wife's other claims were precluded by Husband's State Z judgment of divorce.

1. Is the State X court required to enforce the State Z custody decree? Explain.
2. Are Wife's claims for divorce and property division precluded by Husband's State Z judgment? Explain.

Question 4

Lessor owns and manages apartment buildings in the town of Utopia.

Handy is the sole proprietor and only employee of a small business called “Rapid Repairs.” Most of the income from this business is generated by making small household repairs for homeowners and apartment dwellers in Utopia. Handy has a good reputation for performing quality work and charging reasonable rates.

One year ago, Lessor contracted for an indefinite period with Handy to perform repair work at several apartment units that Lessor owns in Utopia. The tenants of these units are told to make requests for repairs by calling a telephone number listed as “Lessor’s Repair Line.”

Under the Lessor/Handy contract, any call to “Lessor’s Repair Line” actually rings directly through to Rapid Repairs. Handy is obligated to investigate any tenant’s request for repair within 24 hours. Before actually making any repair, however, Handy is required to contact Lessor, describe the nature of the repair, and seek authorization to proceed. Once authorized to make the repair, Handy must make it within 24 hours. Lessor is obligated to pay Handy \$50 per hour for any work done pursuant to the contract (including investigating repair requests) and, in addition, to reimburse Handy’s out-of-pocket expenses.

The Lessor/Handy contract further provides that Handy:

- may perform similar work on other apartment buildings, but may not perform work “on the side” for Lessor’s tenants in Lessor’s buildings;
- must provide his own tools;
- may not perform any electrical work, but must subcontract it to a licensed electrician, approved by Lessor, who will work under Handy’s supervision.

Last month, Tenant called “Lessor’s Repair Line.” Handy answered. Tenant said he had a cracked sink drainpipe. Handy immediately investigated. After obtaining permission from Lessor to repair the sink, Handy returned to make the repair. While Handy was making the repair, Tenant asked Handy to install an electrical outlet in the apartment for Tenant’s computer. Despite his contract with Lessor, Handy agreed to do so, but told Tenant there would be a charge of \$200 as it was an improvement to the apartment, not a repair covered under the lease. Tenant agreed to pay \$200 for a new outlet. Tenant assumed that the money would go to Lessor, but Handy intended to keep it for himself.

Handy was negligent in installing the electrical outlet. The outlet caused a fire, which destroyed Tenant’s personal property. Tenant never paid for the installation work.

On what alternative theories should Tenant argue that Lessor is liable for Handy’s negligence, and what is the likely outcome on each theory? Explain.

Question 5

Acme Corporation, a citizen of State X, manufactures widgets. Acme widgets are distributed to retailers throughout the United States by Widgets, Inc., a citizen of State Y. Plaintiff, a citizen of State Y, purchased an Acme widget from a retailer in her hometown. Shortly after purchasing the widget, Plaintiff was seriously injured when the widget overheated and exploded.

Plaintiff sued Acme in the federal district court located in State Y, properly invoking the court's diversity jurisdiction. Plaintiff sought \$100,000 in damages on two state-law tort theories: (1) failure to warn, and (2) sale of a dangerously defective product.

Under the applicable state law, a manufacturer's duty to warn is fully discharged if a proper warning is affixed to the product *at the point of delivery to its distributor*. A distributor's duty is fully discharged if the warning is affixed *at the point of delivery to the retailer*. State law further provides that both manufacturers and distributors may be held separately and strictly liable for selling a "dangerously defective" product, even if they have given adequate warning of the risks. Plaintiff's complaint alleged both that Acme had failed to affix a warning label to the product and that Acme's widgets had a dangerous propensity to overheat.

After extensive discovery, Acme filed a motion for summary judgment on the failure to warn claim. It attached to its motion the supporting affidavits of employees of both Acme and Widgets attesting that a proper warning label had been affixed to the widget both at the time of delivery to Widgets and at the time of distribution to the retailer who sold the widget to Plaintiff. While conceding that the warning label usually provided with the product did give adequate notice of the danger of overheating and explosion under certain circumstances, Plaintiff nevertheless contested the motion for summary judgment with her own affidavit, in which she stated that there had been no warning label affixed to her widget when she purchased it from her local retailer.

The federal court granted Acme's motion for summary judgment on the failure to warn claim and entered judgment on that claim against Plaintiff. No appeal was taken. Soon afterward, Acme and Plaintiff settled the dangerous defect claim for an undisclosed amount.

Shortly after the conclusion of the federal litigation, Plaintiff filed suit in the state court of State Y, asserting against Widgets, Inc., the same two claims she had asserted against Acme in federal court: failure to warn and sale of a dangerously defective product. Widgets answered and then moved to dismiss on grounds of claim and issue preclusion.

1. In Plaintiff's suit against Acme, did the federal court properly grant Acme's motion for summary judgment on the failure to warn claim? Explain.
2. Should the State Y state court give preclusive effect to the federal court judgment and dismiss Plaintiff's claims against Widgets? Explain.

Question 6

Decedent died one year ago. Decedent's duly probated will created a \$1 million trust. Trustee is the trustee of this trust. The trust provides that:

Trust income shall be payable annually to my son Adam for 10 years. Adam's interest shall be free from control, debts, liabilities, and assignments by Adam and shall not be subject to execution or process for the enforcement of judgments or claims of any sort against Adam. After 10 years, I direct that the income be paid for 5 years to Charity, a charitable organization. After this 5-year period, the trust will terminate and the principal shall be paid to my daughter Beth.

Decedent was survived by Adam and Beth. Adam had a history of lavish spending, which Decedent deplored. Beth was very careful in her financial dealings.

Three months ago, Susan, Adam's former spouse, gave Trustee a copy of a judgment for alimony she had obtained against Adam and proof that Adam had failed to pay her the required \$5,000. Susan demanded that Trustee pay her \$5,000, which was less than the trust's annual income.

Two months ago, Beth gave Trustee a copy of a tort judgment that John had obtained against Beth. She then requested that Trustee pay John \$10,000, the amount of that judgment, from the trust principal.

Last month, Adam, Beth, and Charity commenced an appropriate judicial action to terminate the trust and have the trust assets distributed to them. Trustee has filed appropriate objections in this action.

1. Is Susan entitled to be paid \$5,000 from the trust income? Explain.
2. Can Trustee properly pay John \$10,000 from the trust principal? Explain.
3. Should the court terminate the trust and distribute the trust assets to Adam, Beth, and Charity? Explain.

Question 7

Corn Corp was properly incorporated in 1980 with \$500,000 of initial capital. Its shares are owned equally by Alan, Bruce, and Kathy, who are also the sole directors and officers. Corn Corp produces and sells corn under the brand name “Super Corn.” Until 2000, it was a profitable corporation.

In the late 1990s, Kathy, who has a Ph.D. in genetics and is in charge of product development, was experimenting with genetically engineered corn. She created a new strain of corn that was more resistant to disease than regular corn. Corn Corp patented the new strain of corn. In order to be the first to bring genetically engineered corn to market, Kathy, without the knowledge of Alan and Bruce, negligently omitted several tests that would normally be applied to a new strain of corn, including tests to establish whether it would cause allergic reactions.

Alan, president of Corn Corp, was concerned that some food processors might not want genetically engineered corn. Therefore, on December 31, 1999, Corn Corp properly incorporated Gen-Corn, Inc. (GCI), a wholly owned subsidiary, to produce and sell the new strain of corn. In exchange for all of GCI’s stock, Corn Corp contributed to GCI the patent to the new strain of corn and \$6,000, just enough to produce the seed for the first crop. Alan, Bruce, and Kathy were the sole directors and officers of GCI.

In 2000, GCI, operating out of the offices of Corn Corp, started marketing the genetically engineered corn under the name “Super Corn Plus.” While Kathy scrupulously maintained minute books for Corn Corp, she kept no minute books for GCI. Corn Corp kept meticulous records of all of its business transactions, but GCI did not keep separate records. Although each corporation had its own bank account, Corn Corp often made informal “emergency loans” to GCI to help with cash flow problems. Unfortunately, GCI never became profitable.

Shortly after the first harvest of “Super Corn Plus,” Stuart, a young business executive, died from an allergic reaction after eating cornbread made from “Super Corn Plus.” GCI immediately pulled “Super Corn Plus” from the market and soon after filed for bankruptcy. Because of the similar product names, Corn Corp’s sales of “Super Corn” plummeted, and Corn Corp can no longer pay its bills.

Assuming Stuart’s estate obtained a wrongful death judgment against GCI, can it recover the judgment from Corn Corp or any of Corn Corp’s shareholders? Explain.

FEBRUARY 2003

Analyses

DECEDENTS' ESTATES, WILLS

Question 1 Analysis

- Legal Problems:
- (1) Was Testator's October 1, 1998, will properly executed?
 - (2) Did Testator's codicil effectively incorporate her earlier will by reference?
 - (3) Did Testator's gift of the diamond ring to Betty adeem the codicil's bequest of the ring to Nora?

DISCUSSION

Summary: Although Testator's will was not validly executed because it was signed in her name but outside of her presence, it was validly incorporated by reference into Testator's duly executed codicil, which expressly referred to it by date. Thus, the will, as incorporated by reference into the codicil, is valid to pass title to Blackacre to Charity, the beneficiary under the will.

Because the bequest of the ring in the codicil to Nora adeemed by virtue of Testator's gift of the ring to Betty, Nora is not entitled to the ring.

Point One: (35-45%) Testator's October 1, 1998, will was not effectively executed because Lawyer, while signing it at Testator's direction, did not sign it in her presence.

Will execution statutes commonly provide that another person may sign a testator's will if it is done at the testator's direction and in the testator's conscious presence. *See, e.g.,* Uniform Probate Code (UPC) § 2-502(2). A few statutes additionally require that persons who sign for the testator must also sign their own names and sometimes also give their addresses. *See* Restatement (Second) of Property: Donative Transfers, Statutory Note to § 33.1. Many wills statutes require one or both of the following additional requirements: (1) that the testator declare the instrument to be his or her will to the witnesses, or (2) that the testator ask the individuals selected as witnesses to witness his or her execution of the instrument.

In this case, Lawyer signed Testator's name at her direction, but the question is whether he did so in her presence. The likely answer is that he did not. Courts have used two tests to determine presence: the majority "line-of-sight" test and the minority "conscious presence" test. Under the "conscious presence" test, the will execution is sufficient "if it was done in the testator's conscious presence, i.e., within the range of the testator's senses such as hearing." *See* Unif. Prob. Code § 2-502 cmt.

Lawyer clearly did not satisfy the “line-of-sight” test because Testator did not see Lawyer signing the will on her behalf. Under the “line-of-sight” test, the testator should be capable of seeing the witnesses and the person who is signing the will on the testator’s behalf actually sign the will. In those cases where the testator must specifically ask the witnesses to act as such, the witnesses should be capable of hearing that request. *Matter of Jefferson’s Will*, 349 So. 2d 1032 (Miss. 1977). Even under the more liberal “conscious presence” test (which the UPC expressly adopts), it is very unlikely that the court will conclude that the presence requirement was satisfied. In the analogous situation where a testator acknowledges her signature to witnesses over the telephone, courts have held that this does not satisfy the “conscious presence” requirement. *See In re Estate of McGurkin*, 743 P.2d 994 (Idaho Ct. App. 1987). There is too much room for fraudulent or mistaken substitution of one document for another under these circumstances to permit the will to be admitted to probate.

The defect with the signature requirement is itself sufficient reason to conclude that the will was defectively executed. Additionally, since Testator did not sign the will, acknowledge her signature, acknowledge the will to the witnesses in their presence (under either test), or ask them to act as witnesses, there was defective execution with respect to the witnessing requirements of the will statutes in most states.

The Uniform Probate Code’s harmless error provision, UPC § 2-503, would not likely allow the October 1, 1998, writing to be admitted as a will. There are two defects here, signature and attestation, and the Comment to § 2-503 provides that the greater the departure from the required formalities of execution, the less likely that the provision will cure the defects. This is especially true with respect to defects in the signature requirement. *See* UPC § 2-503 cmt.

Point Two: The validly executed codicil incorporated the October 1, 1998, will by reference, (25-35%) and therefore the October 1, 1998, will can be given legal effect even though it was defectively executed. Therefore, Charity is entitled to Blackacre.

The codicil is Testator’s only duly executed will. A properly executed codicil can incorporate by reference an earlier will that was defectively executed, as here. *See Allen v. Mattock*, 14 Eng. Rep. 757 (P.C. 1858); Jesse Dukeminier & Stanley Johanson, *WILLS, TRUSTS, AND ESTATES* 303 (6th ed. 2000). Therefore, if the jurisdiction recognizes the doctrine of incorporation by reference, the court should give effect to the October 1, 1998, will as an incorporated extrinsic writing.

The doctrine of incorporation by reference is recognized in most states. Either by statute (e.g., UPC § 2-510) or by judicial decision, several requirements must be met in order for a properly executed will to incorporate an extrinsic writing by reference. The usual requirements are: (1) the extrinsic writing must in fact have been in existence at the time the incorporating will was executed; (2) the incorporating will must refer to the extrinsic writing as having been in existence at the time of execution; (3) the incorporating will must refer to the extrinsic writing in such a way as to reasonably identify it; and (4) the incorporating will must manifest the testator’s intent to incorporate the extrinsic writing. *See Wagner v. Clauson*, 78 N.E.2d 203 (Ill. 1948). All four of the requirements were met here. The codicil’s reference to the existing October 1, 1998,

will is sufficiently clear, as is the intention to incorporate the earlier writing. Therefore, Charity is entitled to Blackacre.

Note: If the jurisdiction does not recognize the incorporation doctrine, the probate court should not give any effect to the October 1, 1998, writing. Specifically, the doctrine of republication by codicil cannot be used to republish an earlier will that was defectively executed. The republication requirement can be used to give effect to an earlier will that was invalid for reasons other than defective execution. The October 1, 1998, will was invalid solely because it was defectively executed, so republication is not available here. If the will was not incorporated by reference, Blackacre would pass to Nora and Betty equally as Testator's heirs.

Point Three: The bequest of the diamond ring to Nora was adeemed by Testator's gift of the
(25-35%) ring to Betty. Therefore, Nora is not entitled to the ring and Betty keeps it.

The doctrine of ademption by extinction provides that if the subject matter of a specific bequest is not part of the estate at the testator's death, the bequest is adeemed. The doctrine applies only to specific bequests. The bequest here was specific because the will referred to a specific asset. Under the traditional approach to ademption—the so-called “identity theory”—the testator's intent as to ademption is irrelevant. All that matters is whether or not the specifically bequeathed asset is part of the estate at death. Accordingly, Testator's gift of the ring to Betty caused the bequest to Nora to adeem.

Even under the Uniform Probate Code's non-ademption provision, UPC § 2-606(a)(6), which adopts the so-called “intent theory” of ademption, the result would be the same. In the Comment to § 2-606, the drafters provide a hypothetical problem with facts similar to those of this case. The Comment states, “G's deliberate act of giving away the specifically devised property is a fact and circumstance indicating that ademption of the devise was intended.” Therefore, § 2-606(a)(6) would yield the same result as the traditional ademption doctrine, particularly because the facts state that Testator gifted the ring to Betty in order to ensure that Nora did not take under the codicil.

COMMERCIAL PAPER IV.A, C, D; V.G, H
SALES II.B, IV.B

Question 2 Analysis

- Legal Problems:
- (1) May Financier enforce the note against Mariner despite Mariner's defense that Chandler did not return the nets?
 - (2) May Financier recover from Chandler for breach of transfer warranty because the note was subject to a defense when Chandler transferred it?
 - (3) Did Trawler acquire good title to the fishing nets when Trawler purchased them from Chandler?

DISCUSSION

Summary: Financier, the holder of the note, cannot recover against Mariner, the maker of the note, because Mariner has a valid defense: Chandler, the original payee of the note, breached his contract to repair and return the nets. Financier is not a holder in due course because the note was overdue on its face when Financier took it from Chandler.

Financier can, however, recover from Chandler. Although Chandler endorsed the note "without recourse," that language only limits Chandler's liability as an indorser. In addition to indorsing the note, Chandler transferred it for value, thus making certain transfer warranties, including a warranty that the note was not subject to any defenses. Because Chandler breached that warranty (as the note was in fact subject to Mariner's breach of contract defense), Financier can recover its loss (\$4,000) from Chandler.

Mariner may not recover his nets from Trawler because Mariner entrusted them to a merchant who deals in fishing nets (Chandler) and Trawler purchased them from Chandler in the ordinary course of business. In this case, the UCC protects the purchaser, even though Chandler had no right to sell the nets.

Point One: Mariner is not liable to Financier on the note because Mariner has a defense to
(35-45%) payment that it may assert against Financier.

Chandler negotiated the note by indorsing it and delivering it to Financier. Uniform Commercial Code § 3-201(b). Financier became the holder of the note when he took the note from Chandler with Chandler's indorsement. UCC § 3-201(a) (specifying consequence of negotiation).

The holder of a note is a person entitled to enforce the note against its maker. UCC § 3-301. Accordingly, Financier is a person entitled to enforce the note against Mariner. Mariner, however, has a defense to payment because Chandler breached the contract to repair and return the nets. Mariner may assert this defense against Financier, unless Financier is a holder in due course. *See* UCC § 3-305(a)(2) (permitting the maker to assert contract defenses); § 3-305(b) (limiting the assertion of defenses against a holder in due course).

To be a holder in due course, among other requirements, a holder must take a note without notice that the note is overdue. UCC § 3-302(a)(2)(iii). In this case, the note was payable on March 1 and therefore became overdue after that date. UCC § 3-304(b)(2) (specifying when a note becomes overdue). Financier took the note after it was due. Financier had notice on the face of the note that it was overdue. Financier therefore is not a holder in due course and Mariner may assert against Financier the breach of contract defense Mariner has against Chandler.

Point Two: Chandler is liable to Financier for breach of transfer warranty because the note (35-45%) was subject to a defense to payment when Chandler transferred it.

A person who transfers a note for consideration warrants that the instrument is not subject to a defense to payment. UCC § 3-416(a)(4). Chandler is deemed to have made this warranty to Financier when Chandler transferred the note and Financier paid \$3,500 to Chandler in consideration for it. UCC § 3-303(b) (defining consideration). The warranty was violated because, as explained in Point One, Mariner was entitled to assert Chandler's breach of contract as a defense to payment.

For breach of warranty, a person who took the instrument in good faith may recover damages from the warrantor in an amount equal to the loss suffered as a result of the breach. UCC § 3-416(b) (specifying the measure of damages). In this case, Financier appears to have taken the instrument in good faith because Chandler did not tell Financier anything about the origin of the note. *See* UCC § 3-103(a)(4). The amount of Financier's loss equals the difference between what the note is worth and what it would have been worth if it had been as warranted. *See* William D. Hawkland, 6 HAWKLAND UNIFORM COMMERCIAL CODE § 3-416:10 (2001). In this case, the note has no value to Financier because Mariner has a defense to payment. If the note had been as warranted, it would have been worth \$4,000 to Financier because Mariner would have had to pay that amount. Accordingly, Financier may recover \$4,000 from Chandler, not just the \$3,500 he paid for the instrument.

Ordinarily upon dishonor, one who indorses a note is liable for payment based on the indorsement. UCC § 3-415(a). In this case, however, Chandler is not obliged to pay the note based on his indorsement because he indorsed the note "without recourse." UCC § 3-415(b). Financier therefore cannot enforce the note against Chandler based on Chandler's indorsement. Financier's claim against Chandler is limited to the breach of warranty claim. The indorsement "without recourse" is not effective to disclaim warranties. UCC § 3-416 cmt. 5.

Point Three: Trawler owns the fishing nets and may retain them because Mariner entrusted the
(15-25%) nets to Chandler, a merchant who deals in goods of the kind, and Chandler sold
 them in the ordinary course of business to Trawler.

A seller who does not have title to goods generally may not transfer title to the buyer. UCC § 2-403(1). This general rule, however, contains an important exception that sometimes permits a seller to transfer title to goods that the seller does not own. In particular, “[a]ny entrusting of possession of goods to a merchant who deals in goods of that kind gives him the power to transfer all rights of the entruster to a buyer in the ordinary course of business.” UCC § 2-403(2).

In this case, Chandler is a merchant with respect to the fishing nets because he deals in all kinds of fishing equipment. UCC § 2-104(1). Mariner entrusted the fishing nets to Chandler when Mariner left them to be repaired. UCC § 2-403(3) (specifying that entrusting includes “any delivery and acquiescence in retention of possession”); Hawkland, *supra*, § 2-403:7 (citing the leaving of goods for repair as a typical example of entrusting). Trawler purchased the goods in the ordinary course of business because Chandler regularly sells used goods and because Trawler believed that Chandler owned the fishing nets. Accordingly, Chandler had the power to transfer to Trawler good title to the fishing nets. Trawler now has title to the fishing nets and may retain them.

FAMILY LAW III.B, IV.A, IV.E
CONFLICT OF LAWS

Question 3 Analysis

- Legal Problems:
- (1) Under the Uniform Child Custody Jurisdiction Act (UCCJA), the Uniform Child Custody Jurisdiction and Enforcement Act (UCCJEA), or the Parental Kidnapping Prevention Act (PKPA), must the State X court enforce the State Z decree awarding custody to Husband?
 - (2) Should the State X court give preclusive effect to Husband's State Z judgment and therefore bar Wife's claims for divorce and property division?

DISCUSSION

Summary: The State X court is not required to enforce the State Z decree awarding custody to Husband. Although the custody provision entered by the State Z court was the first custody order entered, the State Z court lacked jurisdiction under both the Uniform Child Custody Jurisdiction Act (UCCJA) and Uniform Child Custody Jurisdiction and Enforcement Act (UCCJEA). Consequently, a court in State X applying the UCCJA or UCCJEA need not recognize or enforce the custody provision in the State Z decree. Also, the Parental Kidnapping Prevention Act (PKPA) would not require that the State X court give the State Z decree full faith and credit. The assertion of jurisdiction by State Z was not consistent with the requirements of the PKPA.

The State X court should give preclusive effect to Husband's State Z judgment of divorce. The State Z court had jurisdiction to adjudicate the divorce, given Husband's domicile. However, the State X court should adjudicate Wife's claim for property, since the State Z court lacked *in personam* jurisdiction over Wife to adjudicate that claim, and since the State X court has such jurisdiction over Husband.

Point One: The State X court is not required under the UCCJA, the UCCJEA, or the PKPA to
(45-55%) enforce the State Z decree awarding custody to Husband.

Every state has adopted either the UCCJA or the UCCJEA. These acts require that states recognize and not modify sister state custody judgments that were based upon jurisdictional requirements similar to those found in the UCCJA or UCCJEA.

The UCCJA and UCCJEA both set forth four bases upon which a state court may assert jurisdiction to make an initial child custody determination. A court has jurisdiction to make an order if (1) the state is the home state of the child at the time of the commencement of the proceeding (*i.e.*, *home state jurisdiction*); (2) the child and at least one contestant have a “significant connection” with the state (*i.e.*, *significant connection jurisdiction*); (3) the child is physically present in the state and has been abandoned or subject to abuse (*i.e.*, *emergency jurisdiction*); or (4) no other state appears to have jurisdiction under the Act, or the state with jurisdiction has declined to exercise it, and it is in the best interest of the child for the court to assert jurisdiction (*i.e.*, *default jurisdiction*).

State Z did not have jurisdiction on any of these bases. The children had resided in State X since they were born, so State Z was not the children’s home state. The children had never been to State Z, so there was no basis for “significant connection” jurisdiction. State Z also lacked “default” jurisdiction because State X could have exercised “home state” or “significant connection” jurisdiction, and State X had not declined to exercise jurisdiction. Finally, the children were not present in State Z when the court issued its custody decree, nor was there any evidence that they were in danger, so the State Z court lacked emergency jurisdiction. *See* UCCJA § 3.

Note: Although § 204 of the UCCJEA deals more directly than does the UCCJA with issues of emergency jurisdiction in situations of spousal abuse, the UCCJEA still requires that the child be present in the state issuing the emergency order.

Therefore, under both the UCCJA and UCCJEA, the State Z court lacked jurisdiction to adjudicate custody and the State X court need not enforce this aspect of the State Z decree.

Nor does federal law require that the State X court enforce the State Z decree. The federal Parental Kidnapping Prevention Act (28 U.S.C. § 1738A) dictates the circumstances in which the courts of one state must give full faith and credit to an earlier custody decree from a sister state. The PKPA contains provisions that are substantially similar to those of the UCCJA and UCCJEA. First, under 28 U.S.C. § 1738A(c)(1), the issuing court must have had jurisdiction under its own state laws. Here, State Z surely did not. Second, under 28 U.S.C. § 1738A(c)(2), even if State Z had jurisdiction under its own law, the PKPA requires enforcement only if the initial assertion of jurisdiction was consistent with the jurisdictional standards set out in the PKPA, which are very similar to the standards required by the uniform acts.

Note: The principal difference between the jurisdictional requirements of the PKPA and the UCCJA is that the PKPA permits jurisdiction to be based upon a “significant connection” only if the child does not have a “home state.” For the reasons noted above, State Z’s assertion of jurisdiction was not consistent with those standards. Since neither prong (c)(1) nor (c)(2) is satisfied here, the decree need not be enforced.

Accordingly, under all three statutes, State Z lacked jurisdiction to award Husband custody, and therefore, State X need not enforce the custody decree.

Point Two: The State X court must give preclusive effect to Husband's State Z judgment of
(45-55%) divorce, but not to the State Z determination respecting property division.

The principle of “divisible divorce” provides that the jurisdictional basis for termination of marriage is different from the jurisdictional basis for deciding the incidents of marriage such as alimony, property division, and child support. *Estin v. Estin*, 334 U.S. 541 (1948); *Vanderbilt v. Vanderbilt*, 354 U.S. 416 (1957). Divorce jurisdiction is based on “domicile” or some equivalent long-term connection between at least one of the parties to the marriage and the forum state. *Id.*

In this case, it appears that Husband had changed his domicile from State X to State Z. He had moved to State Z and his new job there demonstrated his intent to remain there for the foreseeable future. Thus, State Z was his new domicile at the time he filed for and obtained his default divorce decree. *Williams v. North Carolina (I)*, 317 U.S. 287 (1942).

Because Wife neither answered nor otherwise appeared in Husband's State Z divorce action, she now may collaterally attack that judgment in State X. However, Wife may challenge only the jurisdictional basis for the State Z divorce decree, not the merits. *Williams v. North Carolina (II)*, 325 U.S. 226 (1945). Unlike the situation in *Williams (II)*, where the deserting spouses stayed only temporarily in Nevada to get divorced and then immediately returned to their previous home state, Husband has remained in State Z and has accepted a new job there. Because there is substantial evidence that State Z became the bona fide domicile of Husband when he moved there, Wife's collateral attack on the validity of the State Z divorce decree obtained by Husband will fail. Thus, the State Z dissolution of the marriage must be recognized and will preclude Wife's action for divorce.

On the other hand, Husband's claim that the State Z judgment precludes Wife's claim in State X for property division should be rejected. The jurisdictional basis for such claims is *in personam*. *Estin*, 334 U.S. 541; *Vanderbilt*, 354 U.S. 416. No factual basis for *in personam* jurisdiction over Wife by the State Z court has been shown. As Wife had never been in State Z, and did not answer the divorce petition, there were no “minimum contacts” sufficient to support the assertion of *in personam* jurisdiction in State Z over Wife with respect to property division. *See Kulko v. Superior Court of California*, 436 U.S. 84 (1978). Thus, the State Z judgment would have no preclusive effect on Wife's property division claim in State X. *Estin*, 334 U.S. 541; *Vanderbilt*, 354 U.S. 416.

AGENCY AND PARTNERSHIP I, II.B, III

Question 4 Analysis

- Legal Problems:
- (1)(a) Does Lessor exercise sufficient control over Handy to establish Handy as Lessor's "servant" so that Lessor is liable for Handy's torts?
 - (1)(b) If Handy is Lessor's servant, is Handy's conduct within the scope of employment?
 - (2) If Handy is not a servant, did Tenant reasonably rely upon Handy's apparent authority to install an electrical outlet so that Lessor is nonetheless liable for Handy's tort?

DISCUSSION

Summary: Lessor may be held liable for Handy's tortious conduct under either of two theories. First, if the Lessor-Handy relationship is one of master and servant, Lessor is liable for Handy's torts if Handy was acting within the scope of his employment when he committed them. *See* Restatement (Second) of Agency § 219. Second, even if the relationship between Lessor and Handy does not rise to the level of a master-servant relationship, Lessor will be liable for Handy's tort if Tenant relied on statements or conduct by Handy that were within Handy's apparent authority. Restatement (Second) of Agency § 265.

Point One(a): The relationship between Handy and Lessor may be a master-servant relationship (30-40%) such that Lessor is liable for torts committed by Handy while acting within the scope of his employment.

A master is liable for the torts of the master's servants committed while acting in the scope of their employment. Restatement (Second) of Agency § 219(1). Handy is clearly an agent as he agreed to work for, and subject to the control of, Lessor. The more difficult question is whether Handy would be considered to be Lessor's servant.

Note: The Restatement (Third) of Agency has adopted "Employer-Employee" language in place of the traditional "Master-Servant" terminology and applicants may of course use this newer terminology.

Whether Handy performed the work for Tenant as Lessor's "servant" or as an independent contractor agent depends on the degree of control exercised by Lessor over Handy's activities. The Restatement (Second) of Agency § 2(2) provides that a "servant is an agent employed by a master to perform service in his affairs whose physical conduct in the performance of the service is controlled or is subject to the right to control by the master." Conversely, the Restatement

(Second) of Agency § 2(3) provides that “an independent contractor is a person who contracts with another to do something for him but who is not controlled by the other nor subject to the other’s right to control with respect to his physical conduct in the performance of the undertaking.” The Restatement (Second) of Agency § 220(2) lists factors used to determine whether an agent is a servant. These factors are:

- (a) the extent of control which, by the agreement, the master may exercise over the details of the work;
- (b) whether or not the one employed is engaged in a distinct occupation or business;
- (c) the kind of occupation, with reference to whether, in the locality, the work is usually done under the direction of the employer or by a specialist without supervision;
- (d) the skill required in the particular occupation;
- (e) whether the employer or the workman supplies the instrumentalities, tools, and the place of work for the person doing the work;
- (f) the length of time for which the person is employed;
- (g) the method of payment, whether by the time or by the job;
- (h) whether or not the work is a part of the regular business of the employer;
- (i) whether or not the parties believe they are creating the relation of master and servant; and
- (j) whether the principal is or is not in business.

In Handy’s case, the facts permit a persuasive argument on either side. Several factors suggest that Handy should be considered a servant of Lessor. First, Lessor exercises significant control over Handy, in insisting that any repair be approved by Lessor. Second, the relationship appears to be long term, not a temporary arrangement for a small number of repair jobs; it has already lasted for a year. Third, payment is by time worked, not by the particular job. Finally, the work performed is a necessary part of Lessor’s business of owning and operating apartment buildings.

On the other hand, several factors support an argument for classifying Handy as an independent contractor. First, Handy, as a repairman, is engaged in a distinct occupation and business that requires some degree of special skill. Second, Handy provides his own tools. Third, Handy has his own separate repair business and appears to have taken on Lessor’s work in the course of operating that separate business. Fourth, Lessor approves repairs to his properties but does not specify the methods that Handy must use.

Note: Either analysis of the servant issue is plausible. The point is that Lessor is only liable under the theory of *respondeat superior* if Handy is a servant.

Point One(b): If Handy is a servant, his actions were within the scope of employment because, (15-25%) although not authorized, adding an electrical outlet was incidental to authorized conduct.

Conduct is within the scope of employment if the conduct is of the “same general nature authorized or incidental to the conduct authorized.” Restatement (Second) of Agency § 229(1).

Factors examined in determining whether conduct is within the scope of employment include whether the conduct is the kind the servant is employed to perform; whether it occurs substantially within the authorized time and space; and whether it was performed, at least in part, to serve the master. *See* Restatement (Second) of Agency § 228.

In this case, Handy was not authorized to add the electrical outlet as Handy's contract with Lessor expressly prohibited him from doing electrical work. It also prohibited him from doing work "on the side" for a tenant. However, even forbidden activity can be within the scope of employment. Restatement (Second) of Agency § 230.

The Restatement (Second) of Agency § 229(2) sets forth factors to consider in determining whether an action is incidental to the authorized conduct so that it comes within the scope of employment. These factors include:

- (a) whether or not the act is one commonly done by such servants;
- (b) the time, place and purpose of the act;
- (c) the previous relations between the master and the servant;
- (d) the extent to which the business of the master is apportioned between different servants;
- (e) whether or not the act is outside the enterprise of the master or, if within the enterprise, has not been entrusted to any servant;
- (f) whether or not the master has reason to expect that such an act will be done;
- (g) the similarity in quality of the act done to the act authorized;
- (h) whether or not the instrumentality by which the harm is done has been furnished by the master to the servant;
- (i) the extent of departure from the normal method of accomplishing an authorized result; and
- (j) whether or not the act is seriously criminal.

A key fact that points to the conclusion that adding the electrical outlet was incidental to the scope of employment is the fact that Handy did the electrical work while providing Tenant with authorized services.

Point Two: Even if Handy is not a servant, or is a servant not acting within the scope of employment, Lessor is liable if Tenant reasonably believes Handy was Lessor's agent and relied on what appeared to be authority for Handy to perform the work.
(50-60%)

Restatement (Second) of Agency § 265 sets out the general rule: "(1) A master or other principal is subject to liability for torts which result from reliance upon, or belief in, statements or other conduct within an agent's apparent authority." Section 265(2) conditions this liability upon reliance.

An agent is clothed with apparent authority when a principal "by written or spoken words or any other conduct of the principal which, reasonably interpreted, causes the third party to believe that the principal consents to have the act done on his behalf by the person purporting to act for him."

Restatement (Second) of Agency § 27. The facts indicate that Lessor clothed Handy with apparent authority by advising tenants to call the “Lessor’s Repair Line” when they needed repairs, and then using Handy’s business phone number as the “Lessor’s Repair Line.” The act of using Handy’s number reasonably caused Tenant to believe that Handy was authorized by Lessor to act on Lessor’s behalf. There are no facts to suggest that Tenant knew or could expect to know that a person authorized to make general repairs was prohibited by contract from adding an electrical outlet.

With respect to reliance, the facts permit a persuasive argument on either side. Arguably, Tenant did not reasonably rely on Handy’s apparent authority because Tenant was told that adding an electrical outlet was an improvement, not a repair, and Handy made repairs. Further, Handy indicated that there was a charge for the electrical work.

However, the alternative argument could also be made. Lessor arranged to have “Lessor’s Repair Line” ring directly to Handy’s office. Tenant knew that Handy was working for Lessor; in fact Handy was present doing work on behalf of Lessor. It is not unreasonable to believe that the same person designated to make repairs would also make improvements. Further, the facts indicate that Tenant believed the payment for the work (\$200) was to go to Lessor.

FEDERAL CIVIL PROCEDURE II.A, IV.E, VI.E

Question 5 Analysis

- Legal Problems:
- (1) Under Fed. R. Civ. P. 56, should summary judgment be granted to a defendant who supports his motion with evidence negating the plaintiff's claim when the plaintiff's response fails to directly controvert that evidence?
 - (2)(a) Does claim preclusion arising from a prior federal suit against a product's manufacturer bar a subsequent suit against the product's distributor?
 - (2)(b) In this case, may the distributor successfully invoke issue preclusion against the plaintiff?

DISCUSSION

Summary: In the federal court action, defendant Acme's motion for summary judgment was premised on the claim that a proper warning label was attached to its widget at the time the widget was delivered to the distributor. Under the applicable state law, Acme's duty to warn was fully discharged if that fact were true. To support its claim, Acme provided affidavits of witnesses who said the label was present at the relevant time. In the face of this evidence, Plaintiff had a duty to present evidence of "specific facts" showing that there was a genuine issue for trial. Plaintiff's affidavit, which asserted only the absence of a label *when she purchased the widget*, did not contradict Acme's evidence that a label was present when it delivered the widget to the distributor. Hence, summary judgment was appropriate on that issue.

Nothing that happened in the federal court action should preclude Plaintiff from proceeding with the state court action. Claim preclusion is inappropriate because there is no mutuality of estoppel: the defendant in the state court action was not the same as, or in privity with, the federal defendant and would not have been precluded or otherwise affected by the result in the federal action. Issue preclusion is inappropriate because the only issue *actually decided* in the federal action (whether a warning label was present when the manufacturer delivered the widget *to the distributor*) is not an issue in the state action, where the question is whether a warning label was present when the widget was delivered *to the retailer*.

Point One: Because Plaintiff's response to Acme's motion for summary judgment failed to
(30-40%) demonstrate a genuine issue of material fact as to Acme's supported assertion that
 a warning label was affixed to the product at the time of delivery to the
 distributor, the court properly granted summary judgment to Acme on the failure
 to warn claim.

A motion for summary judgment should be granted in favor of a party if "there is no genuine issue as to any material fact" and the party is "entitled to a judgment as a matter of law." Fed. R. Civ. P. 56(c). A defendant on a claim may move for summary judgment by attacking any *necessary* element of the plaintiff's case. See *Celotex Corp. v. Catrett*, 477 U.S. 317 (1986). In determining whether there are any genuine issues of material fact, the court should construe all factual matters in the light most favorable to the non-moving party. However, where the moving party presents evidence of facts that would defeat the non-moving party's claim, the non-moving party "may not rest upon the mere allegations" of her pleading. The non-moving party has a responsibility to offer, "by affidavits or as otherwise provided" in Rule 56, evidence of "specific facts showing that there is a genuine issue for trial." Fed. R. Civ. P. 56(e).

On the facts of this problem, the court properly granted Acme's motion for summary judgment on the failure to warn claim. The law of State Y (which the federal court is obliged to apply under the *Erie* doctrine in this diversity case) states that a manufacturer fully discharges its duty to warn if adequate warning labels are affixed to the product *at the time of delivery to its distributor*. Thus, to win on her failure to warn claim, Plaintiff must prove that no proper warning label was affixed to the widget at the time of delivery to the distributor.

Defendant Acme's summary judgment motion alleged that adequate warning labels were, in fact, affixed to the product at the relevant time, and that allegation was supported by affidavits attesting to the presence of the warning label at the time of delivery to the distributor. This properly supported motion therefore negates a key element of Plaintiff's claim, thereby discharging Acme's duty to support its summary judgment motion under Fed. R. Civ. P. 56(e).

At this point, the burden shifted to Plaintiff to come forward with controverting evidence. Plaintiff responded to the summary judgment motion with her own affidavit, in which she attested that no warning label had been present on her widget when she purchased it. This does not directly controvert Acme's motion, since it does not contend that the warning label was missing at the point of delivery to the distributor, the critical moment for manufacturer liability under applicable state law. Consequently, Plaintiff failed to meet her burden to produce evidence controverting Acme's version of the facts. See Jack H. Friedenthal, Mary Kay Kane & Arthur R. Miller, *CIVIL PROCEDURE* 461 (3d ed. 1999).

Thus, Acme has demonstrated that no genuine issue of material fact exists on a key element of Plaintiff's claim, and that it is, therefore, entitled to judgment as a matter of law. Fed. R. Civ. P. 56(c).

Point Two (a): Because Widgets was not a party to the prior action, it probably cannot bar
(20-30%) Plaintiff's action against it on claim preclusion grounds.

Note: Even though the current suit is in state court, the effect of the Acme judgment is governed by federal law because the judgment came from a federal court. A state court is required to give to a federal judgment the same preclusive effect that the judgment would have *in federal court*. See generally Eugene F. Scoles & Peter Hay, CONFLICT OF LAWS § 24.2 (2d ed. 1992). The preclusive effect of a judgment by a federal court sitting in diversity ordinarily would be determined by the preclusion rules of the state in which the federal court sits. *Semtek Int'l, Inc. v. Lockheed Martin Corp.*, 531 U.S. 497 (2001).

In order to bar a plaintiff's subsequent lawsuit on claim preclusion grounds, a defendant must show (1) that the prior judgment is final, valid, and on the merits (which is true here), (2) that the present claims are within the scope of the prior judgment, as measured by the same transaction test (also true here), and (3) that there is mutuality of estoppel (i.e., that the defendant urging preclusion is the same as, or in privity with, the defendant in the prior suit). Although the first two elements of claim preclusion are easily satisfied on the facts of the problem, Widgets' claim preclusion argument will probably fail on the final prong: mutuality of estoppel.

Here, there are no facts to suggest that Widgets had such a close relationship with Acme that Widgets would have been bound by the prior judgment had that decision gone against Acme. Widgets apparently did not control or participate in the Acme litigation. Nor are Widgets and Acme in any agency or representative relationship that would warrant treating Acme's actions as binding on Widgets. In short, there is nothing to suggest that Widgets bore such a close relationship to the first suit or to Acme that it would be proper to treat the first action as binding on Widgets. Under the circumstances, the usual rule that a judgment operates only against parties to the first suit seems fully applicable. See Charles A. Wright, Arthur R. Miller & Edward H. Cooper, FEDERAL PRACTICE AND PROCEDURE § 4406.

Where, as here, a plaintiff brings separate suits against alleged joint tortfeasors whose liability is joint and several (and not derivative), the courts traditionally hold that the plaintiff is entitled to maintain separate actions and that a judgment in a case involving one tortfeasor does not preclude the bringing of a claim for the same harm against another tortfeasor. See Restatement (Second) of Judgments § 49, cmt a. See, e.g., *Drescher v. Hoffman Motors Corp.* 585 F. Supp. 555, 558 (D.C. Conn. 1984); *U.S. v. Manning Coal Corp.*, 977 F.2d 117, 122 (4th Cir. 1992); *Levy v. Verser, Inc.*, 882 F. Supp. 736, 740 (N.D. Ill. 1995). But see *Meshulam v. General Motors Corp.*, 995 F.2d 192, 194 (11th Cir. 1993) (under Florida law, the manufacturer, the wholesale distributor, and the retailer of an allegedly defective product are treated as identical parties for *res judicata* purposes and an action against a retailer is a bar to a subsequent action against the manufacturer on product liability grounds).

Note: Although the doctrine of mutuality of estoppel has been widely abandoned in relation to *issue preclusion*, it is still largely operative in the context of *claim preclusion*. See, e.g., *Sidag A.G. v. Smoked Food Products Co.*, 776 F.2d 1270, 1275 (5th Cir. 1985). The traditional rule requiring mutuality of estoppel for claim preclusion purposes appears to be undergoing some modification in federal courts. Wright, Miller and Cooper report that increasing numbers of federal courts now allow claim preclusion against a party to a prior action by litigants who would not themselves have been bound by the results of the prior case if there are "good reasons why [the new defendant] should have been joined in the first action and the old party cannot show any

good reasons to justify a second chance.” Wright, *supra*, § 4464 (2000 Supp.) In the present case, however, there is no evidence of a good reason why Plaintiff ought to be required to sue both Acme and Widgets at the same time.

Point Two(b): Widgets will not be able to assert issue preclusion against Plaintiff because the
(20-30%) issues in Plaintiff’s suit against Widgets are not the same as the issues that were
actually litigated in Plaintiff’s prior suit against Acme.

Widgets’ attempt to invoke issue preclusion will also fail. The problem for Widgets is that none of the issues involved in Plaintiff’s suit against it were actually decided in Plaintiff’s suit against Acme. As to the failure to warn issue, although evidence was presented in Acme’s suit on whether the required warning was present at the time Widgets delivered the product to the retailer (in the form of the employee affidavits), the court did not need to use that evidence to decide the summary judgment motion, since the key point there was whether the label was affixed at the point of delivery *to the distributor*, not the retailer. As to the dangerous defect issue, the settlement in Acme’s case obviated any actual litigation on the point. The settlement also precluded any actual litigation as to the amount of Plaintiff’s damages. It is well settled that a judgment entered pursuant to a settlement cannot serve as the basis for issue preclusion in a later case. *See generally* Jack H. Friedenthal, Mary Kay Kane & Arthur R. Miller, CIVIL PROCEDURE § 14.11 (3d ed. 1999).

Because issue preclusion essentially exports the factual findings of one case into another, any issue to be precluded must be precisely the same one that was actually litigated, decided, and necessary to the judgment in the prior suit. Here, that is not the case.

TRUSTS & FUTURE INTERESTS I.E, H

Question 6 Analysis

- Legal Problems:
- (1) Should Trustee distribute \$5,000 from the trust income to Susan in payment of her unpaid alimony claim?
 - (2) Should Trustee distribute \$10,000 from the trust principal to John in payment of his tort judgment against Beth?
 - (3) Should the court terminate the trust and distribute the trust assets to Adam, Beth, and Charity?

DISCUSSION

Summary: Generally, an income interest subject to a spendthrift clause is not available for payment of claims against the income beneficiary. However, many states, for public policy reasons, do not apply this rule to unpaid alimony claims. In such states, Trustee should pay Susan's \$5,000 claim. On the other hand, Trustee cannot pay John's claim from the trust because Beth is not entitled to any principal until the trust terminates and a payment to John would harm both Adam and Charity. Lastly, the court should refuse to terminate the trust because termination would be inconsistent with Decedent's intent as evidenced by the presence of a spendthrift clause in the trust instrument.

Point One: Trustee should distribute \$5,000 from trust income to Susan in payment of her (30-40%) unpaid alimony claim notwithstanding that Adam's interest is subject to a spendthrift clause.

The testamentary trust created by Decedent contains language that clearly indicates Decedent's intention to subject Adam's 10-year term interest to a spendthrift restriction. Spendthrift clauses are widely recognized. *See generally* Restatement (Second) of Trusts § 152(1) and Restatement (Third) of Trusts § 58 (Tent. Draft No. 2). The effect of a spendthrift clause is to bar a creditor from reaching the beneficiary's interest in satisfaction of the creditor's claim.

However, there are exceptions to the general rule for public policy purposes. A well-established exception enables a former spouse with an unpaid alimony judgment to reach a spendthrift trust interest of his or her former spouse. *See* Restatement (Second) of Trusts § 157(a); Restatement (Third) of Trusts § 59(a)(Tent. Draft No. 2); Uniform Trust Code § 503(b). This exception recognizes a strong public policy against allowing a trust beneficiary to enjoy a trust interest while neglecting to pay the court-ordered support of the beneficiary's former spouse. Accordingly, Trustee should pay Susan \$5,000 to satisfy her unpaid alimony judgment against Adam.

Note: Even though Susan is entitled to receive \$5,000 from the trust income, Trustee, as a practical matter, should not make that distribution to her without an authorizing court order. This protects Trustee from any possible liability for having made an inappropriate distribution to Susan. Also, if the jurisdiction does not adhere to the alimony exception, Trustee should distribute nothing from the trust to Susan.

Point Two: Trustee cannot properly pay \$10,000 to John from the trust principal in payment (30-40%) of his tort judgment against Beth because Beth's interest is a remainder interest.

The testamentary trust created by Decedent contains no language evidencing Decedent's intent to subject Beth's remainder interest to a spendthrift restriction. Absent such a restriction, Beth's interest would generally be alienable and reachable by her creditors. *See generally* Restatement (Second) of Trusts §§ 132 & 157 and Restatement (Third) of Trusts §§ 51 & 57 (Tent. Draft No. 2).

However, because Beth is a remainder beneficiary and not an income beneficiary, she has no immediate right to the possession and enjoyment of any trust property. Rather, she must await the termination of the trust to receive any trust property. John, as her creditor, can have no greater rights in the trust property than she had. As her creditor he simply steps into her shoes. Thus, he cannot obtain possession of her share any earlier than she could have obtained possession of it. Payment of trust principal to him at this time, therefore, would be premature.

Furthermore, if Trustee gave John any trust principal at this time, the rights of both Adam and Charity would be adversely affected since the income to which they are and will be entitled is generated from the principal. Any payment to John, therefore, would reduce the future income flow from the trust.

Accordingly, Trustee should not pay John's \$10,000 claim from the trust principal.

Point Three: The court should refuse to terminate the trust and should not distribute the (30-40%) trust assets to the beneficiaries.

It is a well-established rule that a testamentary trust can be terminated by a court upon the request and consent of all trust beneficiaries unless a material purpose remains to be accomplished. *See* Restatement (Second) of Trusts § 337. The bar against termination when a material purpose remains is referred to as the *Claflin* doctrine and is based on the seminal nineteenth-century case, *Claflin v. Claflin*, 20 N.E. 454 (Mass. 1889). The *Claflin* doctrine assures that a trust will not be terminated when termination would be inconsistent with the grantor's intent.

Accordingly, the question is whether there is a material purpose of the trust that would be defeated if the trust were to terminate. The traditional view is that a material purpose remains if any trust interest is subject to a spendthrift restriction that bars alienation of the spendthrift interest. Termination is inappropriate because, if trust assets are distributed to a beneficiary of a

spendthrift interest, the beneficiary could later alienate the property. Under this view, the court should refuse to terminate the trust and should not order Trustee to distribute the trust assets to the beneficiaries.

Even under the third Restatement, the court should refuse to terminate the trust. This Restatement rejects the *per se* prohibition on trust termination where there is a spendthrift clause. It requires a finding that the trust grantor really intended the spendthrift provision to bar premature trust termination. Under this test, a spendthrift clause inserted in a trust as mere boilerplate might not bar a requested termination when all trust beneficiaries consent to the termination. Restatement (Third) of Trusts § 65, comment e (Tent. Draft No. 3). *See also* Uniform Trust Code § 411(c) (spendthrift clause is not presumed to constitute a material purpose of the trust). Here, however, the facts clearly indicate that Decedent would not have wanted Adam to prematurely reach his interest due to Decedent's unhappiness with Adam's lavish spending, and therefore the court should not terminate the trust.

CORPORATIONS III, V.C.2, VIII

Question 7 Analysis

- Legal Problems:
- (1) Can a judgment creditor “pierce the corporate veil” of a wholly owned subsidiary corporation to recover the creditor’s judgment from the parent corporation shareholder?
 - (2) Assuming that a judgment creditor can pierce the corporate veil of a wholly owned subsidiary corporation, can it further pierce the parent corporation’s corporate veil to recover its judgment from the parent corporation’s shareholders?

DISCUSSION

Summary: Stuart’s estate will probably be able to pierce the corporate veil to hold Corn Corp liable for the estate’s judgment against GCI. Whether a court will pierce the corporate veil depends heavily on the facts of a particular case, and here the facts support holding Corn Corp liable. In the first place, the usual facts supporting veil- piercing are present here: the business records of Corn Corp and GCI were completely intermingled, GCI did not observe the formalities of a separate corporate existence, GCI was inadequately capitalized, and GCI’s business (selling Super Corn Plus) was held out to the public as a mere extension of Corn Corp’s business. In addition, the activities that led to the judgment against GCI were the result of decisions made and directed by an officer of Corn Corp at a time when Super Corn Plus was still a Corn Corp product.

It is less likely that a court would pierce the corporate veil of Corn Corp in order to hold its shareholders liable to pay Stuart’s estate’s claim. There is nothing to suggest that the shareholders used Corn Corp as a “mere instrumentality” or their “alter ego.” They respected corporate formalities, and Corn Corp appears to have been adequately capitalized.

Point One:
(50-60%) Stuart’s estate will likely be able to pierce GCI’s corporate veil and recover its judgment from Corn Corp, the “parent” corporation, because GCI failed to maintain a formal separate existence as evidenced by its inadequate capitalization and failed to maintain corporate formalities, and because justice requires piercing to prevent Corn Corp from insulating itself from its wrongdoing.

Shareholders generally are not liable for the corporation’s debts. *See* Revised Model Business Corporation Act § 6.22. A court, however, will “pierce the corporate veil” when circumstances indicate that the privilege has been misused or when necessary to do justice. *See Pepper v.*

Litton, 308 U.S. 295, 310 (1939). The decision to pierce the corporate veil will be based on a determination of the facts.

While a parent corporation is expected to exert some measure of control over a subsidiary corporation, the subsidiary corporation is expected to be separate, at least in form. When a parent corporation so dominates a subsidiary corporation that the subsidiary has no real separate existence, and justice so requires, a court will disregard the corporate form and hold the parent corporation personally liable for the subsidiary's debts.

One basis for piercing the corporate veil is fraud or illegitimate purpose. In the absence of fraud or illegitimate purpose, a court may still pierce the corporate veil when justice so requires if (a) the parent and subsidiary intermingle their respective business transactions, accounts, and records; (b) the subsidiary fails to observe the formalities of separate corporate procedures; (c) the subsidiary is not adequately financed in light of its foreseeable normal obligations; or (d) the parent and subsidiary do not hold themselves out to the public as separate enterprises. *See* Harry Henn & John R. Alexander, *LAWS OF CORPORATIONS* § 148 (1983).

Based on the facts, GCI is a wholly owned subsidiary of Corn Corp. Corn Corp had a legitimate purpose for organizing GCI. Creating a separate entity for marketing reasons (because some food processors might not have wanted genetically engineered corn) is an acceptable business reason. Despite this legitimate purpose, a court might still pierce the corporate veil because GCI did not formally maintain a separate existence from Corn Corp (internally or externally). GCI did not formally maintain corporate formalities and was not initially adequately capitalized.

Corn Corp and GCI intermingled their assets and business transactions. GCI operated out of the offices of Corn Corp and had exactly the same directors and officers. GCI did not keep separate records of its business transactions. Additionally, while the two corporations each had separate bank accounts, the fact that GCI received "informal" loans from Corn Corp is further evidence of the blurred boundaries between the parent and subsidiary.

GCI did not observe corporate formalities. It did not keep separate minute books. Additionally, Corn Corp did not adequately finance GCI in light of its foreseeable normal obligations. Corn Corp funded GCI with only the patent, which was new and of speculative value, and \$6,000, which was only enough to produce the seed for the first crop. The inadequate initial capitalization was further evidenced by GCI's need for "emergency loans" from Corn Corp to meet day-to-day cash flow needs.

Finally, Corn Corp and GCI marketed products with very similar names (Super Corn and Super Corn Plus). These similar product names could be reasonably interpreted by the public to be from the same entity. The decline in sales experienced by Corn Corp after Stuart's death seems to indicate that the public viewed Corn Corp as the same entity as GCI. Further, as discussed above, both Corn Corp and GCI operated from the same location, which could lead the public to conclude that the businesses were not distinct.

Justice requires piercing because Super Corn Plus was developed by Corn Corp, and an officer and director of Corn Corp negligently rushed it to market without the proper testing. Corn Corp

should not now be able to use a wholly owned subsidiary that did not maintain a separate existence to insulate itself from liability.

Point Two: The facts do *not* support piercing Corn Corp's corporate veil to hold Alan, Bruce, (40-50%) and Kathy, as shareholders, liable for Stuart's estate's judgment. Kathy, however, might be liable for her negligent acts.

While the facts support piercing the corporate veil to hold Corn Corp liable for the judgment against GCI, this will not help Stuart's estate because the facts indicate that Corn Corp cannot pay its bills (so it will be unable to pay the judgment). Therefore, Stuart's estate would like to recover the judgment against GCI from the shareholders of Corn Corp (Alan, Bruce, and Kathy). However, the facts do *not* support a claim to recover from Alan, Bruce, or Kathy in their capacity as shareholders of Corn Corp.

Shareholders generally are not liable for the corporation's debts. *See* RMBCA § 6.22. Courts generally respect the corporate form and shield shareholders from liability unless the shareholders use the corporation as a "mere instrumentality" or "alter ego" to carry out an improper or illegal purpose (e.g., to perpetrate fraud, to evade the law, to escape obligations). "[W]here corporate formalities are substantially observed, initial financing reasonably adequate, and the corporation not formed to evade an existing obligation or a statute or to cheat or to defraud, even a controlling shareholder enjoys limited liability." *See* Henn and Alexander, *LAWS OF CORPORATIONS* § 146 (3d ed. 1983).

There are no facts to support a conclusion of an illegal or improper purpose when Corn Corp was incorporated. There is also no suggestion that Corn Corp was inadequately capitalized when it was incorporated. Corn Corp had \$500,000 of initial capitalization and had been profitable for 20 years. The fact that Corn Corp cannot currently pay its bills is irrelevant to this determination.

Further, there is no evidence that the shareholders did not respect the corporate formalities. For example, Kathy scrupulously kept Corn Corp's minute books. Nor is there any evidence that Alan, Bruce, or Kathy ignored the "separateness" of Corn Corp. In summary, there are no facts to indicate that any of the shareholders of Corn Corp treated Corn Corp as their "alter ego" or a "mere instrumentality," and the interests of justice do not require piercing the corporate veil in this case.

Although the facts do not support a holding that Kathy is liable in her capacity as a shareholder of Corn Corp, Stuart's estate could bring a separate action against Kathy for her negligent acts as the head of Corn Corp's product development.

JULY 2003

Questions

Question 1

Corp owns 95% of the outstanding stock of Sub. Pat and Dale own the remaining 5% of Sub stock, and they are also two of the three directors of Sub. Both Corp and Sub are properly incorporated and have only one class of stock outstanding. Corp's board of directors is composed of five directors; none of them is Pat or Dale.

Corp's board of directors voted unanimously, for valid business reasons, to merge Sub into Corp and to adopt a plan for a cash-out merger. Pursuant to the plan of merger, each Sub shareholder would receive \$20 per share, which is \$4 per share above the current book value. No changes to Corp's articles of incorporation are required as a result of this merger, and Corp shareholders will not experience a change in their shareholder rights. Corp did not submit the plan of merger to its shareholders for a vote.

At a regularly scheduled meeting of Sub's board of directors, Corp announced its intent to merge with Sub. Sub's board voted against the merger by a 2 to 1 vote, with Pat and Dale voting against it. Corp decided to proceed with the merger in spite of the vote against it by Sub's board and subsequently filed articles of merger with the Secretary of State. Shortly thereafter, Pat and Dale each received a check for \$20 per share, a copy of the plan of merger, and a notice including all other statutorily required information.

Pat and Dale sued to unwind the merger. They claim the merger was improper because (a) Sub's board of directors did not approve the merger, (b) Corp's shareholders did not vote on the merger, and (c) Sub's shareholders did not vote on the merger.

Further, Pat and Dale claim that, even if the merger stands, they are entitled to receive more than the \$20 per share paid by Corp. They claim the true value of their shares is \$25 per share. Pat and Dale base this valuation on their knowledge of the financial condition of Sub, which they acquired while serving as directors of Sub, and the advice they received from an independent financial advisor. The independent financial advisor is willing to testify that the value of Sub is between \$21 and \$26 per share.

1. Should the court unwind the merger for any of the reasons asserted by Pat and Dale? Explain.
2. Assuming that the merger is allowed to stand, do Pat and Dale have any legal basis for asserting the right to receive more than the \$20 per share offered by Corp? Explain.

Question 2

In 1988, Testator duly executed a will devising Blackacre to Adam, \$100,000 to Carrie, and the residue of her estate to Doris. However, in 1992, Testator telephoned her lawyer, Lawyer, who had possession of the 1988 will, and asked her to destroy it because Testator had changed her mind. Lawyer agreed. Immediately after hanging up the phone, Lawyer found the will, shredded it, and threw it away.

In 1996, Testator signed and dated a wholly handwritten document that stated: "I devise Blackacre to Earl and \$2,500,000 to my good friend, Fred."

Testator died in 2002, a domiciliary of State A. She was survived by Greg, age 30, who was her child and only heir. Adam, Carrie, Doris, Earl, and Fred also survived Testator. There was no surviving spouse. Testator's net probate estate (after taxes, debts, and expenses) consisted of \$5,000,000 plus Blackacre.

The 1996 document, together with an unexecuted copy of the 1988 will, the original of which Lawyer had shredded, were found among Testator's valuable papers. Both documents were offered for probate.

Under State A law, holographic wills are valid.

1. Which documents, if any, govern the distribution of Testator's estate? Explain.
2. What are the respective shares, if any, in Testator's estate of each of the following: Adam, Carrie, Doris, Earl, Fred, and Greg? Explain.

Question 3

Garden Shop borrowed \$10,000 from Finance Co. to finance its current operations. The parties agreed that Garden Shop would repay the loan in 90 days by making a single payment of \$10,450. The additional \$450 represented interest at a lawful rate.

Finance Co. issued a \$10,000 check to Garden Shop. In exchange, Garden Shop delivered to Finance Co. a signed and dated promissory note stating: "In 90 days, Garden Shop promises to pay to the order of Finance Co. \$10,000.00 (Ten thousand four hundred fifty and 00/100 dollars)." Neither party noticed the inconsistency between the numerically expressed amount as "\$10,000.00" and the written "Ten thousand four hundred fifty and 00/100 dollars."

On the 90th day, Finance Co. demanded payment from Garden Shop but could not produce the note, which, despite a diligent search, Finance Co. could not find. Finance Co. could not remember whether it had indorsed the note.

1. If Finance Co. later finds the note, can Finance Co. enforce it and, if so, in what amount? Explain.
2. If Finance Co. does not produce the note and Garden Shop nonetheless pays Finance Co., would Garden Shop's obligation on the note be discharged as against all persons? Explain.
3. If Garden Shop refuses to pay because Finance Co. cannot produce the note, what must Finance Co. prove and what conditions must it satisfy in order to obtain a judgment against Garden Shop? Explain.

Question 4

Farmer brought a class action lawsuit in federal district court in State A, alleging that the defendant, Truckco, marketed a line of pickup trucks with defective shock absorbers. Farmer's complaint identified the members of the class as 100,000 individuals nationwide who had bought the trucks from 1995-2000 and suffered losses as a result of the defective shock absorbers. The alleged losses ranged from the \$250 cost of replacing the shock absorbers to serious personal injuries suffered in accidents alleged to have been caused by the defective shock absorbers. The only claim personal to Farmer was the \$250 replacement cost claim. Farmer properly asserted that federal jurisdiction was based on a breach of warranty claim under a recently enacted federal automobile safety statute.

Farmer moved to certify the class. Opposing this motion, Truckco submitted court papers from lawsuits brought by individual owners who claimed to have suffered a wide variety of personal injuries as a result of accidents said to have resulted from the failure of the defective shock absorbers during the years in question. Truckco also noted that Farmer had previously filed (and still has pending) a class action against Truckco in a state court in State Z. In the State Z case, which was premised on state-law warranty claims, Farmer sought relief similar to the relief sought in the federal action and asked to represent the same class of plaintiffs. Finally, Truckco pointed out that Farmer's lawyer in both actions was a recent bar admittee who had not previously handled class action litigation.

In addition to arguing against certification of the class, Truckco asked the federal district court to abstain from adjudicating the class action in light of the pendency of the state court class action.

The federal district court first denied Truckco's motion for abstention. The court then denied Farmer's motion for class certification, finding that class certification was "inappropriate under the circumstances."

1. Was the court's ruling on Truckco's motion for abstention correct? Explain.
2. Was the court's ruling on Farmer's motion for class certification appropriate? Explain.

Question 5

Adam, Barbara, and Carl are partners in a beverage distribution business. They have no written partnership agreement. The partnership distributes alcoholic and nonalcoholic beverages to bars and restaurants throughout State A. Jane owns one of these bars. She also owns a number of pinball and video game machines, which are located in many of the same bars and restaurants served by the partnership. In past dealings with the partnership, Jane has dealt exclusively with Carl.

A number of beverage distribution businesses have expanded into the pinball and video game machine business. To capitalize on this trend, Jane decided to sell her pinball and video game machines. At about the same time, Adam, Barbara, and Carl decided that their partnership should consider expanding into the pinball and video game machine business. The partners agreed that Carl would approach Jane to obtain information about the number of machines she had for sale, their locations and condition, and the associated revenues and expenses. However, because the opportunity represented a new line of business, Adam and Barbara instructed Carl not to finalize a deal with Jane without first discussing the terms with them.

When Carl met with Jane, she said that she owned 127 machines located in 72 bars and restaurants. After they visited 50 bars and saw 98 machines, Carl decided he had seen enough. Carl told Jane he would go back to the office to “run some numbers” and would call her soon.

Based on Jane’s representations and his observations of 98 machines, Carl decided to offer \$225,000 for all of Jane’s 127 machines. Jane accepted the offer and signed the contract Carl had drafted. Carl signed the contract on behalf of the partnership. At no time, however, did Carl consult with Adam or Barbara before finalizing the deal. Adam and Barbara later discovered that the revenue generated by the machines was insufficient to justify the contract price.

1. Is the partnership bound by the contract that Carl signed? Explain.
2. Can the partnership recover from Carl any loss on the contract with Jane? Explain.

Question 6

NOTE: Applicants answering this question in a community property state should use community property principles. For this purpose, the phrase “marital property” means community property.

On July 1, 1990, Ann and Burt got married in State X, where they have lived all their lives.

At the time of their marriage, Ann and Burt were each 22 years old. Burt had graduated from high school and had been working for one year as a data entry technician, earning \$30,000 annually. Ann had graduated from high school and had worked since graduation as a grocery store cashier, earning \$27,000 annually. Ann had a trust fund that she acquired when she was 18 years old. The trust fund was worth \$200,000, and Burt knew all about it. Neither had any other property or debts. Ann knew that Burt planned to become a lawyer, and Burt knew that Ann intended to be a homemaker.

Three months prior to the marriage, Burt told Ann that he would not marry her unless they signed a premarital agreement. Ann was surprised because Burt had never told her this was a precondition to their marriage. She reluctantly agreed, and they immediately went to the office of Burt's lawyer, Lawyer. Lawyer showed Ann and Burt a draft agreement under which both Ann and Burt would waive all rights to separate and marital property titled solely in the other's name if they divorced. They would also waive any right to claim child support if they divorced.

Lawyer told Ann that by signing the agreement she would be waiving her rights to marital property and child support. Lawyer also told Ann that he represented only Burt, and not her, and that she should retain her own lawyer. Ann decided not to retain her own lawyer because she trusted Burt. Ann read the agreement the next day and expressed no reservations about signing it. Ann and Burt then both signed the agreement.

After the marriage, Burt became a very successful lawyer. Ann became a homemaker and had no out-of-home employment. The value of the property acquired from Burt's earnings during the marriage is \$900,000. The value of Ann's trust fund, managed at all times by her father, is now over \$800,000. Ann and Burt have two children, currently ages seven and ten.

Ann now sues Burt for divorce in State X. Ann and Burt agree that Ann will have custody of the children. However, the parties cannot agree on the division of property.

Ann seeks property division and child support under the marital dissolution statute. Burt argues that (a) the court should enforce the premarital agreement, and (b) if the court invalidates the premarital agreement, that Ann's trust fund is marital property subject to distribution.

Ann concedes that the premarital agreement was and is substantively fair. Nonetheless, she argues that it is unenforceable (a) because she lacked legal counsel, and (b) because it addresses

Question 6 (continued)

property distribution and child support upon divorce. She also argues that (c) regardless of the premarital agreement's validity, her trust fund is not subject to division.

1. How should the court rule on Ann's and Burt's arguments regarding the premarital agreement? Explain.
2. How should the court rule on Ann's and Burt's arguments regarding the trust fund? Explain.

Question 7

Debtor, the sole proprietor of a small restaurant, borrowed \$20,000 from Bank. The loan was used to purchase kitchen equipment for Debtor's business, including a stove unit, a large refrigerator, two freezers, and a commercial microwave oven. Debtor signed a promissory note and a security agreement granting Bank a security interest in the items purchased. The security agreement contained clauses (1) waiving Debtor's right of redemption should default occur, and (2) providing that, if Debtor failed to make any regular installment payment, "the entire unpaid obligation due from Debtor to Bank shall, without further notice, immediately become due and payable." Bank properly perfected its security interest in the collateral.

Debtor missed four monthly installment payments. When Debtor was approximately \$1,600 in arrears, Bank's representative drove a large truck to the alley behind the restaurant. Bank's representative was accompanied by two movers. The time was 11:10 p.m., shortly after the restaurant's closing time. Bank's representative pounded loudly on the locked back door, which was opened by one of the restaurant's employees. "We're here to repossess the kitchen equipment," stated Bank's representative. "Well, my boss isn't here, and I don't think I should let you in," replied the employee. Without further discussion, Bank's representative and the two movers walked right past the employee and began moving the kitchen equipment out to the truck. At first, the employee objected loudly, but soon he shrugged and watched quietly as they removed the equipment.

The next day, Debtor went to Bank and offered to pay the \$1,600 arrearage in monthly payments. Bank refused the tender, reminding Debtor the entire balance was now due. When Debtor then offered to pay the entire balance due including Bank's repossession expenses, Bank told Debtor that it would not allow him to redeem because he had waived his right of redemption. Thereafter, Bank sent Debtor a notice of public sale and then duly held the sale, the terms of which were commercially reasonable. Bank now has threatened to sue Debtor for a deficiency judgment of \$4,000, the difference between Debtor's unpaid loan obligation and what Bank recovered in the sale.

Debtor has had to close the restaurant because the kitchen equipment was repossessed.

What are Debtor's rights, remedies, and liabilities under the Uniform Commercial Code? Explain.

JULY 2003

Analyses

CORPORATIONS V.A, V.B, VIII.B

Question 1 Analysis

- Legal Problems:
- (1)(a) In a parent-subsidary merger, does the board of directors of the subsidiary corporation have to approve the merger?
 - (1)(b) In a parent-subsidary merger, do the shareholders of the parent corporation have to approve the merger?
 - (1)(c) In a parent-subsidary merger, do the shareholders of the subsidiary corporation have to approve the merger?
 - (2) In a parent-subsidary merger, if the subsidiary's minority shareholders believe that the parent corporation is paying less than fair value, can they force the parent corporation to pay more money?

DISCUSSION

Summary: None of the objections presented by Pat and Dale will suffice for unwinding this merger. Corp's ownership of 95 percent of Sub's shares gives it the power to merge Sub into itself without securing the approval of Sub's board of directors and without holding any vote of Corp's or Sub's shareholders. However, Pat and Dale are entitled to receive the fair value of their shares, provided they properly invoke their appraisal rights.

Point One(a): The approval of Sub's board of directors is not required for this parent-subsidary merger.
(20-30%)

A merger between two corporations is normally effectuated by adoption of a plan of merger by the board of directors of both corporations. Revised Model Business Corporation Act (RMBCA) § 11.04(a) (1999 Rev.). However, when a parent owns at least 90 percent of the outstanding shares of each class of stock of a subsidiary, the parent may merge the subsidiary into itself without the approval of the subsidiary's board of directors. *See* RMBCA § 11.05 (1999 Rev.). The rationale for this rule is that the parent owns sufficient shares of the subsidiary to remove any members of the board of directors voting against the merger and replace them with members who would vote in favor of the transaction.

The facts of this problem present such a parent-subsidary situation. Because Corp owns 95 percent of Sub, approval of the merger by the Sub board of directors is not necessary. Thus, Corp could proceed with the merger despite the Sub board's negative vote on the plan of merger, and the negative vote provides no basis for unwinding the merger.

Note: Some state's parent-subsidary merger statutes require that the parent corporation own at least 95 percent (e.g., Arkansas), while other states require only 80 percent (e.g., Alabama).

Point One(b): Approval by the shareholders of Corp is not required for this parent-subsidary (20-30%) merger.

A plan of merger usually must be submitted to shareholders for their approval. *See* RMBCA § 11.04 (1999 Rev.). However, RMBCA § 11.04(g) provides that approval by shareholders of the surviving corporation is not required when the merger will not result in a fundamental change in the corporation or the ownership rights of its shareholders. In particular, no shareholder approval is required if

(1) the corporation will survive the merger . . . ; (2) . . . its articles of incorporation will not be changed; (3) each shareholder of the corporation whose shares were outstanding immediately before the effective date of the merger . . . will hold the same number of shares, with identical preferences, limitations, and relative rights, immediately after the effective date of change; and (4) the issuance in the merger . . . of shares or other securities . . . does not require a vote under § 6.21(f).

RMBCA § 11.04(g)(1999 Rev.).

The facts presented satisfy the requirements for this exception insofar as Corp's shareholders are concerned. First, Corp will survive the merger because Sub is being merged into it. Second, Corp's articles of incorporation will not change as a result of the merger. Finally, no vote to issue shares is required because this is a cash-out merger (the Sub shareholders are receiving cash, not securities). The cash-out nature of the merger also means that no Corp shareholder will experience a change in the number of shares owned or the rights and preferences of those shares. Therefore, the fact that the Corp shareholders did not vote does not constitute a basis to unwind the merger.

Note: Prior to the RMBCA 1999 revision, approval by Corp's shareholders would not have been required simply because this was a short-form merger (parent's subsidiary). *See* old RMBCA § 11.04. Under the revised act, the analysis is more elaborate but the result is the same.

Point One(c): The shareholders of Sub are also not required to approve this parent- subsidiary (20-30%) merger.

As noted above, shareholder approval of a plan of merger is generally required. *See* RMBCA § 11.04(b)(1999 Rev.). However, parent-subsidary mergers are an exception to this rule when the parent owns at least 90 percent of the outstanding shares of each class of the subsidiary. *See* RMBCA § 11.05 (1999 Rev.). Shareholder approval is not required in these circumstances because the parent corporation owns a sufficient number of shares to ensure that the plan of the merger will be adopted. In our problem, because Corp owns 95 percent of Sub, it would easily

prevail in any shareholder vote and, accordingly, the law does not require a vote by the shareholders of Sub for the merger to proceed. Therefore, the failure of the Sub shareholders to approve the transaction does not constitute a basis to unwind the merger.

Point Two: Pat and Dale are entitled to exercise appraisal rights and seek the “fair value” of (30-40%) their shares.

Appraisal rights (also referred to as dissenter’s rights) allow shareholders to force the corporation to pay fair value for their shares in the event of certain fundamental changes, including a parent-subsidary merger for which shareholder approval is unnecessary. *See* RMBCA § 13.02 (a)(1)(ii) (1999 Rev.). Thus, Pat and Dale, as minority shareholders of Sub, are entitled to exercise appraisal rights in connection with this merger. As Pat and Dale believe that each share is worth \$5 more than Corp paid them in the merger, they will exercise their appraisal rights. Assuming that they follow the procedure established by the applicable statute (including notifying the corporation of their assertion of appraisal rights and demanding payment), they will be entitled to receive the fair value of their shares.

If Corp and Pat and Dale cannot agree on fair value, a court will decide the matter. In the court proceeding, Pat and Dale would offer the testimony of the independent financial advisor, stating the fair value of Sub shares to be between \$21 and \$26 per share, to support their contention. They might not get \$25 per share, but based on this independent evaluation, they would probably get more than \$20 per share.

DECEDENTS' ESTATES AND TRUSTS II.A, II.C, II.F, III.B

Question 2 Analysis

- Legal Problems:
- (1) Was the 1988 will that was destroyed by Testator's lawyer outside of Testator's presence legally revoked by physical destruction?
 - (2) Is Testator's 1996 handwritten will entitled to be probated, and if so, as a subsequent testamentary instrument, did it revoke Testator's 1988 will?
 - (3) Is Greg entitled to any share of the estate as a "pretermitted heir"?

DISCUSSION

Summary: Blackacre is distributable to Earl under the terms of the valid holographic will and the balance of the estate is distributed as follows: \$100,000 to Carrie under the 1988 will, \$2,500,000 to Fred under the 1996 will, and the residue to Doris under the 1988 will. Adam and Greg take nothing. This distribution results from the fact that the 1988 will was not wholly revoked by destruction but only partially revoked by the inconsistent provisions of the codicil. Furthermore, Greg is not entitled to a forced share because he was alive when the wills were signed.

Point One: (25-30%) The 1988 will was not revoked because it was physically destroyed by someone other than the testator and not in the testator's presence.

Most states require that a revocatory act (such as physical destruction of a will) by someone other than the testator be done in the testator's presence, or at least in the testator's "conscious presence," and at the testator's request. *See, e.g.,* Uniform Probate Code (UPC) § 2-507. Therefore, in most states, the 1988 will would not have been legally revoked. Testator asked Lawyer to destroy the will, but the destruction did not occur in Testator's presence.

Although the 1988 will was physically destroyed, it was not revoked and the unexecuted copy is available to prove its content.

Point Two: (35-45%) Because holographic wills are valid in State A, the 1996 will can be probated. The 1988 will was revoked by the 1996 holographic will only to the extent that it was inconsistent with the later holographic will.

The 1996 document is a holographic will because it is entirely in Testator's handwriting; under the laws of State A holographic wills are valid and therefore the 1996 will is entitled to be probated. The fact that the 1996 will is entitled to be probated, however, does not preclude the

possibility that the 1988 will can also be probated so long as it was not revoked. Wills may be revoked either by physical destruction, accompanied by an intent to revoke, or by the execution of a subsequent will. Typically, if a will has been executed and then another will is executed, the latter will revokes the former will only to the extent that they are inconsistent, unless, of course, the latter will has an express revocation clause. *See generally* UPC § 2-507(a)(1). Here, the 1996 will did *not* have an express revocation clause. Because it did not have a residuary clause (it contained only a specific bequest and a general bequest), its terms are not wholly inconsistent with the terms of the 1988 will. In fact, the only inconsistency between them is the disposition of Blackacre. Under the 1988 will, Blackacre was bequeathed to Adam; under the 1996 will, it was bequeathed to Earl. Since the later will trumps the earlier will, Blackacre is distributable to Earl.

Assuming that both documents can be probated for the reasons stated, the probate estate should be distributed as follows: Blackacre to Earl, \$100,000 to Carrie, and \$2,500,000 to Fred; Doris, the residuary legatee under the 1988 will, takes the remaining \$2,400,000. Adam takes nothing.

Point Three: Greg, Testator's child and only heir, is not entitled to any share of Testator's (20-25%) estate because he is not a pretermitted heir.

In most jurisdictions, pretermitted heir statutes have been enacted permitting children of a testator under certain circumstances to claim a share of the estate even though they were omitted from the deceased testator's will. Typically, these statutes apply only if the child was born or adopted after the execution of the will. *See generally* UPC § 2-302. Here, Greg was alive when both the 1988 will and the 1996 will were executed. Thus, Greg would not be entitled to a "forced share" under the typical pretermitted heir statute. However, if the statute protects children born before the will was executed who were not expressly disinherited, then Greg would take the entire estate.

COMMERCIAL PAPER II.B, II.C, II.F, IV.A, IV.G

Question 3 Analysis

- Legal Problems:
- (1) When a negotiable instrument contains contradictory terms, is it enforceable and, if so, which terms prevail?
 - (2) When does payment discharge a negotiable instrument?
 - (3) What does one who loses a negotiable instrument have to show and do in order to enforce the note?

DISCUSSION

Summary: Finance Co. can enforce the note for \$10,450. The rule is that words prevail over numbers. If Garden Shop paid the missing note, whether the payment discharged its obligation would depend on whether Finance Co. had already indorsed or negotiated the note. In either of those cases, it is possible that a “holder in due course” could later appear and enforce the note against Garden Shop. To avoid this contingency, a court would require Finance Co. to prove that it had lost the note and provide adequate security to Garden Shop against double liability before the court would order Garden Shop to pay.

Point One: The enforceability of the note is not affected by the inconsistency in its terms.
(15-25%) The amount of the note is \$10,450 because words prevail over numbers.

If Finance Co. can find the note, it can enforce it in the amount of \$10,450. Despite the inconsistency as to the amount payable between the numbers and the words of the note, the note is still negotiable. The note contains an unconditional promise to pay a fixed amount of money to the order of a specific party at a definite time, with no other promises stated by the maker other than to pay. Uniform Commercial Code § 3-104(a). As payee, Finance Co. qualifies as a person entitled to enforce the instrument under § 3-301. Garden Shop’s obligation as the issuer of the note under § 3-412 would be to pay the note according to its terms to a person entitled to enforce the instrument.

Section 3-114 covers the situation where there are contradictory terms within an instrument. Under § 3-104(b), this promissory note qualifies as an “instrument” because it is a negotiable instrument. The rule under § 3-114 is that in a case of contradiction such as this one, words prevail over numbers. Therefore, this note is enforceable for \$10,450 rather than for \$10,000.

Note: The note will be *overdue* if Finance Co. finds it and presents it at a later time (i.e. after the due date) but this fact will not affect Finance Co.’s right to enforce the note. Finance Co. might not be able, however, to collect any interest that accrues after the due date. With respect to

possible third party holders, any holder that took the note after the due date (and therefore with notice that it was overdue) could not be a holder in due course. But a holder who took the note before the due date could be a holder in due course and could enforce the note even after it became overdue. Therefore, the fact that the note becomes overdue will not affect this part of the analysis or either of the other two basic points.

Point Two: Because Finance Co. cannot produce the note, if Garden Shop pays Finance Co., (35-45%) it would discharge its obligation to pay against all persons as long as Finance Co. has not negotiated or indorsed the note.

If Garden Shop pays Finance Co. despite the loss of the note, Garden Shop's obligation on the note is discharged as against all persons unless Finance Co. had voluntarily transferred the note or had indorsed the note in blank prior to losing it. Section 3-602(a) says that a party obligated to pay the instrument is discharged on the instrument when it makes payment to a person entitled to enforce the instrument. Section 3-601(b), however, states that discharge of a party is not effective against a person acquiring the rights of a holder in due course of the instrument who has no notice of the discharge. However, if Finance Co. did indeed lose the note and had not indorsed the note in blank prior to losing it, then no other party could become a holder, much less a holder in due course. *See* UCC § 3-201(b) and § 3-301, discussed in Point One above, and Official Comment to § 3-309. On the other hand, if Finance Co. had voluntarily transferred the instrument rather than losing it, then payment to Finance Co. does not discharge Garden Shop because Finance Co. would not be a person entitled to enforce the instrument. *See* UCC § 3-309(a).

Alternatively, if Finance Co. indorsed the note in blank prior to losing it, the note would now be bearer paper. Thus, a third party in possession of the note would be a holder. *See* UCC § 3-201(a) (negotiation may occur even by means of an involuntary transfer) and Official Comment 1 to § 3-201 ("For example, if an instrument is payable to bearer and it is stolen by Thief or is found by Finder, Thief or Finder becomes the holder of the instrument when possession is obtained.") If that third party then negotiated the note for value to a good-faith purchaser who had no notice of any defense or discharge, that purchaser would be a holder in due course under § 3-302(a)(2) and would not be subject to Garden Shop's discharge defense under § 3-601(b).

Point Three: Finance Co. must prove that it lost the note and must provide adequate protection (35-45%) against double liability before a court can enter judgment against Garden Shop.

If Finance Co. sues on the note without producing it, it can obtain a judgment against Garden Shop only if it meets the conditions set out in UCC § 3-309. First, Finance Co. must qualify under § 3-309(a) as a person entitled to enforce the instrument even though it is not in possession of the instrument. In order to do this, Finance Co. must show that (1) it was in possession of the instrument and entitled to enforce it at the time of its loss, (2) the loss was not the result of a transfer by Finance Co. or a lawful seizure, and (3) the instrument's whereabouts cannot be determined.

Second, Finance Co. must prove the terms of the instrument.

Third, Finance Co. must provide adequate protection to Garden Shop against loss that might occur to Garden Shop by reason of a claim by another person to enforce the instrument. The court must decide what protection to require. A surety bond is a common source of protection. If Finance Co. can convince the court that it lost the note and never indorsed it, then the need to provide protection is diminished because, without an indorsement by Finance Co., no later party could be a holder of the note. Thus, Garden Shop would not face a credible risk of being forced to pay the note again. *See* Point Two above and Official Comment to UCC § 3-309 (“On the other hand if the instrument was payable to the person who lost the instrument and that person did not indorse the instrument, no other person could be a holder of the instrument. In some cases there is risk of loss only if there is doubt about whether the facts alleged by the person who lost the instrument are true.”)

FEDERAL CIVIL PROCEDURE IV.B, IV.C, VI.F

Question 4 Analysis

- Legal Problems:
- (1) Does the pendency of a parallel state court proceeding in State Z require the federal district court to abstain from adjudicating the class action?
 - (2) Is class certification appropriate in this case under the guidelines set forth in Fed. R. Civ. P. 23?

DISCUSSION

Summary: The court's refusal to abstain was correct. The court is not required to abstain merely because the federal litigation is duplicative of state litigation. The facts do not present any other basis for abstention.

The district court properly denied class certification because Farmer's breach-of-warranty claim is not typical of the claims of those class members who have suffered personal injuries. In addition, Farmer is not an adequate representative of the class because his interests differ significantly from the interests of the personal injury claimants and Farmer's attorney is inexperienced with this kind of litigation.

Point One: (30-40%) Although duplicative federal and state court litigation is wasteful, no federal rule requires abstention simply on the basis of duplication. The court's denial of abstention was correct because no existing federal abstention rule would support abstention in this case.

In general, parties may proceed to judgment in a federal district court action without regard to the pendency of state proceedings that seek similar relief. *See Kline v. Burke Construction Co.*, 260 U.S. 226 (1922). Indeed, a federal district court has a "duty . . . to adjudicate a controversy properly before it," and it may abstain "only in the exceptional circumstances where the order to the parties to repair to the State court would clearly serve an important countervailing interest." *Colorado River Water Conservation District v. United States*, 424 U.S. 800, 813 (1976).

The facts of this problem do not support abstention under any established abstention rule. *Pullman* abstention, *see Railroad Comm'n of Texas v. Pullman Co.*, 312 U.S. 496 (1941), operates only when the state court's resolution of unsettled state law issues may obviate the necessity of resolving a difficult federal law issue. *Burford* abstention is appropriate only if federal adjudication would interfere with the state's administration of a complex regulatory scheme, *Burford v. Sun Oil Co.*, 319 U.S. 315 (1943), and *Younger* abstention is limited to cases where the federal court is asked to enjoin the actions of state officials, *Younger v. Harris*, 401

U.S. 37 (1971). Nothing in this problem implicates any of these standard abstention doctrines.

There is an argument that the district court should dismiss the action under the U.S. Supreme Court's decision in *Colorado River*, 424 U.S. 800. Viewed expansively, the *Colorado River* doctrine, which is based on "principles of federalism, comity, and conservation of judicial resources," could be said to warrant federal court restraint when parallel state proceedings mean that pursuit of federal proceedings will waste judicial resources and potentially involve federal resolution of issues also pending before state courts. See *Black Sea Investment, Ltd. v. United Heritage Corp.*, 204 F.3d 647, 650 (5th Cir. 2000). Such an argument could be bolstered by observing that dismissal under *Colorado River* is not governed by a "hard and fast rule," but by the application of an elaborate balancing test. See *Moses H. Cone Mem. Hosp. v. Mercury Const. Corp.*, 460 U.S. 1, 16 (1983).

However, *Colorado River* does not justify abstention in this case. In *Colorado River*, the Supreme Court emphasized that the dismissal of the federal action in that case (in favor of parallel state proceedings) was an "extraordinary and narrow exception," 424 U.S. at 813, to the "virtually unflagging obligation of the federal courts to exercise the jurisdiction given them." 424 U.S. at 817.

The mere fact of duplicative litigation, which is all that appears to justify abstention on our facts, is not enough to justify abstention under *Colorado River*. See *Black Sea Investment, Ltd.*, 204 F.3d at 650. ("Duplicative litigation, wasteful though it may be, is a necessary cost of our nation's maintenance of two separate and distinct judicial systems.") There must be evidence of other factors that militate against federal litigation, such as the risk of inconsistent rulings with respect to a particular piece of property or clear evidence of a federal policy favoring unitary adjudication of the claims at issue. In conducting the necessary balancing inquiry, moreover, "the balance [is] heavily weighted in favor of the exercise of jurisdiction." *Cone Mem. Hosp.*, 460 U.S. at 16. In our case, there appears to be no special state interest to protect, no federal policy supporting unified state court adjudication of these product liability claims, and no apparent risk of inconsistent adjudications. It thus appears that the court's ruling was correct, as the class action here falls under the general rule of no abstention, rather than the narrow exception in *Colorado River*.

Point Two: The district court was justified in ruling that class certification was unwarranted
(60-70%) because the facts suggest the absence of claim typicality and adequate
 representation.

Federal Rule of Civil Procedure Rule 23(a) identifies the prerequisites that must be satisfied before any class may be certified. Rule 23(a) requires evidence that:

- (1) the class is so numerous that joinder of all members is impracticable, (2) there are questions of law or fact common to the class, (3) the claims or defenses of the representative parties are typical of the claims or defenses of the class, and (4) the representative parties will fairly and adequately protect the interests of the class.

If the Rule 23(a) prerequisites are satisfied, a class action may be certified if it falls within one of the categories specified in Rule 23(b). Of particular relevance to this case is Rule 23(b)(3), which also requires that “questions of law or fact common to the members of the class predominate over any questions affecting only individual members, and . . . a class action is superior to other available methods for the fair and efficient adjudication of the controversy.”

For a number of reasons, the district court’s refusal to certify Farmer’s class action was appropriate. While Farmer has satisfied a few of the prerequisites specified in Rule 23(a), he has not satisfied all of them. With respect to the few, the 100,000 members of the class easily satisfy the numerosity requirement, and there are issues of law and fact common to the members of the class. In particular, there are the questions whether the shock absorbers are defective and, if so, whether relief is appropriate under federal warranty law.

Farmer has not likely, however, satisfied the typicality and adequacy of representation requirements. As for typicality, the claims of representatives and class members are typical when they stem from a single event or are based on common legal theories. *Rall v. Medtronic*, 1986 WL 22271 (D. Nev. 1986). Here, Farmer’s individual claim seeks to recover for out-of-pocket losses resulting from replacement of the shocks. While Farmer’s claim is “typical” of other class members’ claims to the extent that all the claims involve the question of the defectiveness of the shock absorbers, Farmer’s warranty claim otherwise differs significantly from claims for personal injuries, which some members of the class have here. Personal injury claims are highly individualized, involving issues of causation, extent of damages, contributory negligence, etc., that are not present with respect to Farmer’s breach-of-warranty claim. Because of differences of this sort, federal courts have been reluctant to grant class certification where the claims of injured persons will be represented by class representatives who have no personal injury or where personal injury claims are lumped with claims that do not involve personal injury. Moreover, personal injury claimants have a strong interest in individually controlling the prosecution of their claims and in making individual decisions on whether to settle. A class action is designed for situations where individual claims are too small to warrant individual prosecution. *See, e.g., Walsh v. Ford Motor Co.*, 106 F.R.D. 378, 404-408 (D.D.C. 1985). *See generally Amchem Products, Inc. v. Windsor*, 521 U.S. 591, 615-619 (1997). Consequently, a typicality problem arises here. *Cf. Hanlon v. Chrysler Corp.*, 150 F.3d 1011 (9th Cir. 1998) (class certification proper because class limited to economic loss claimants; personal injury claimants excluded).

The adequacy of representation requirement involves a two-part inquiry. First, the court must ask whether the representative’s interests are aligned closely enough with other class members to ensure fair representation of the absentee class members. Second, the court must ensure that class counsel is experienced and qualified to carry out the litigation in order to fairly and adequately protect the interests of the class. Both requirements pose problems in this case. *See, e.g., Gen. Tel. Co. of the Southwest v. Falcon*, 457 U.S. 147, 157 n. 13 (1982); *Emig v. American Tobacco Co., Inc.*, 184 F.R.D. 379, 387 (D. Kan. 1998). The difference between the nature of the contract and warranty claims of Farmer and those of the personal injury victims presents a potential conflict of interest that raises doubts about Farmer’s adequacy as a representative of the interests of the personal injury claimants. Farmer might be more willing to accept a modest settlement than would the personal injury claimants in the class. This adequacy of representation problem is

magnified in view of the lawyer's inexperience with class litigation. There is a real question as to whether a new bar admittee is appropriate counsel for such complex litigation.

Even if the district court were satisfied that the Rule 23(a) prerequisites were satisfied, these same concerns would warrant denial of class certification pursuant to Rule 23(b). As noted above, the court may certify the class action only if common questions predominate over questions affecting individual members of the class. Given the existence of personal injury claimants in the class, some of whom have already filed independent claims, and given the existence of questions about the adequacy of the representation being provided by Farmer for the class, it was certainly within the scope of the court's discretion to conclude that the efficiency to be had by litigating "common questions of law and fact" in a class action would be overwhelmed by the problems posed by the presence of litigants with diverse personal injury claims, raising non-common issues of fact and law. *See, e.g., Amchem*, 521 U.S. at 622-25. In this regard, the personal injury claimants probably have a strong interest "in individually controlling the prosecution . . . of [their] separate actions." *Georgine v. Amchem Products, Inc.*, 83 F.3d 610, 633 (3d Cir. 1996). Moreover, given the potential variability in the nature of the claims asserted by the class members, and the inexperience of class counsel, the "difficulties likely to be encountered in the management" of an action involving such diverse claims would probably significantly reduce the efficiencies stemming from class litigation. *Id.*

Accordingly, although the class is large and there are some common issues of law and fact, given the wide discretion residing with the court, it appropriately refused to certify the class.

AGENCY AND PARTNERSHIP II, IV, VII, VIII.B

Question 5 Analysis

- Legal Problems:
- (1) Under the theory of apparent authority, is a partnership bound by a contract entered into by a partner when that partner lacked actual authority?
 - (2) Is a partner liable to the partnership for breach of fiduciary duties when the partner enters into a contract against the other partners' instructions and without providing complete information to his partners?

DISCUSSION

Summary: Carl lacked actual authority to bind the partnership by signing the contract. In this three-person partnership, Adam and Barbara had expressly limited his authority when they told him "not to finalize a deal with Jane without first discussing the terms with them." The partnership, however, may be bound by the contract if Carl had apparent authority. Whether Carl had apparent authority depends on (a) whether expanding into the pinball and video game machine business could be considered "carrying on in the ordinary course" of this partnership's business, and (b) whether Jane viewed Carl as authorized to negotiate and sign the contract on behalf of the partnership. These issues can be resolved by a fact-based analysis.

Carl is liable to the partnership for any loss arising from the contract because he is an agent of the partnership and violated his fiduciary duties to the partnership: Carl violated express instructions when he entered into the contract without first consulting with Adam and Barbara; he also failed to make adequate disclosure to Adam and Barbara.

Point One: Although Carl lacked actual authority to enter into the contract, the partnership is bound by the contract if Carl had apparent authority to act on the partnership's behalf on this matter.

Carl's Actual Authority (10-20%): Each partner is entitled to participate equally "in the management and conduct of the partnership business." Uniform Partnership Act (UPA) § 18(e), Revised Uniform Partnership Act (RUPA) § 401(f). The rules of partnership management provide for majority rule on matters arising in the ordinary course and unanimous rule on matters arising out of the ordinary course of business. UPA §18(h), RUPA § 401(j).

Carl lacked actual authority to sign the contract binding the partnership because Adam and Barbara expressly instructed Carl “not to finalize a deal with Jane without first discussing the terms with them.” The express instruction from Adam and Barbara “not to finalize” restricted Carl’s actual authority. In this three-partner partnership, Carl lacked unanimous or majority approval to proceed beyond investigating the opportunity. Therefore, Carl lacked actual authority and the partnership is not bound on an actual authority basis.

Carl’s Apparent Authority (40-50%): As a partner, Carl is an agent of the partnership. “An act of a partner . . . for apparently carrying on in the ordinary course the partnership business or business of the kind carried on by the partnership binds the partnership, unless the partner had no authority to act for the partnership in the particular matter and the person with whom the partner is dealing knew . . . the partner lacked authority.” RUPA § 301 (1997). *See also* UPA § 9(1) (1914). There is no suggestion that Jane was aware of any limitation on Carl’s authority. Thus, two questions arise: (a) whether Carl had apparent authority to enter into purchase agreements on behalf of the partnership, and (b) whether the purchase of pinball and video machines was within the ordinary course of the partnership’s business. These questions are appropriately viewed from Jane’s perspective. *See Luddington v. Bodenvest, Ltd.*, 855 P.2d 204, 209 (Utah 1993). *See also Smith v. Dixon*, 386 S.W.2d 244 (Ark. 1965) (look to custom and past dealings between the parties or with the particular partnership).

With respect to the first question, it would be perfectly reasonable for Jane to believe that Carl had the authority to enter into a purchase agreement without consulting his partners and there is no evidence that she knew that he lacked authority in this instance. The facts state that Carl represented the partnership in past dealings with Jane, negotiating and signing contracts without input from Adam or Barbara. Thus, from Jane’s perspective, when Carl signed the contract with Jane, he was carrying on business “in the usual way” in which it was always carried on for the partnership. *See RNR Investments Limited Partnership v. Peoples First Community Bank*, 812 So. 2d 561 (Fla. Ct. App. 2002) (“apparently carrying on in the ordinary course” means that partnership business must have been carried on “in the usual way”).

With respect to the second question, the issue is whether the purchase of *pinball and video game machines* would appear to be a carrying on of “the *partnership* business or business of the kind carried on by the partnership.” RUPA § 301 (emphasis added). The partner’s act must not only be an act carrying out business “in the usual way,” but it must also be an act the public would “reasonably conclude is directly and necessarily embraced within the partnership business as being incident or appropriate to such business according to the course and usage of conducting it.” *Merrill v. O’Bryan*, 93 P. 917 (Wash. 1908). The act must be “apparently within the nature of the business” of the partnership. *Cummings v. Nordmark*, 438 P.2d 605, 606 (Wash. 1968). *See also Luddington v. Bodenvest Ltd.*, 855 P.2d at 210 (act must be “within the ordinary and apparent scope of the partnership business”).

In this case, the partnership was engaged in the beverage distribution business. An argument could be made that Carl’s purchase of pinball and video game machines was neither “partnership business” nor “business of the kind carried on by the partnership.” RUPA § 301. Ownership of pinball and video games is not “directly and necessarily embraced” within the scope of a

beverage business, nor is it obviously “incident or appropriate to such business.” *Merrill v. O’Bryan*, 93 P. 917.

On the other hand, other beverage distribution businesses in the same geographic area as this partnership have been expanding into the pinball and video game machine business. Thus, even if the business of this partnership had been limited to beverage distribution, it is arguable that the supply of other goods and services to bars and restaurants, including game machines, is a “business of the kind carried on by the partnership” and is therefore within the “nature of the business” of this partnership. *See Cummings v. Nordmark*, 438 P.2d 605. Moreover, Jane, who was aware of the trend of beverage distributors expanding into the pinball and video game business could view this partnership’s expansion as being “incident or appropriate to [its] business according to the course and usage of conducting it [in her area].” *Merrill v. O’Bryan*, 93 P. 917. *Cf.* Florida Revised Uniform Partnership Act § 301(1) (scope of partnership business is determined with reference to acts of such businesses “in the geographic area in which the partnership operates.”).

The apparent authority arguments could go either way. The important task for applicants is to recognize the issue and apply the test appropriately. There is also an argument that even if Carl lacked authority to enter the contract, the partnership ratified the partnership contract when it presumably accepted the machines and began operating them.

Point Two: Carl is liable to the partnership for any loss arising from the contract with Jane (40-50%) because Carl breached his fiduciary duty to the partnership by signing this contract in violation of the instructions from Adam and Barbara, and without providing full disclosure to Adam and Barbara.

A partner is an agent of the partnership and owes duties to the partnership and the other partners. When a partner violates a duty, the partner is liable to the partnership and other partners for the resulting loss. Carl violated his duties to the partnership and the other partners when he entered into the contract in violation of his instructions and without discussing the terms with Adam and Barbara. Although the rationale differs under the UPA and the RUPA, under either statute, Carl is liable to the partnership for the loss resulting from his breach of duty.

Carl breached several duties to the partnership. First, under the common law and the UPA, Carl is an agent of the partnership and owes a duty of obedience to his other partners, including a duty to follow reasonable instructions. *See* Restatement (Second) of Agency § 385 (1958); UPA § 4(3). Carl breached this duty by failing to follow Adam and Barbara’s instruction that he not enter into any contract with Jane unless he first discussed the terms with them. (In a jurisdiction where the RUPA is applicable, one could also argue that this failure to follow instructions was “intentional misconduct” and a breach of Carl’s duty of care. *See* RUPA § 404(c).)

Second, Carl had an obligation to provide full information to Adam and Barbara. That obligation was imposed by their express instruction to him “not to finalize a deal with Jane without first discussing the terms” with them. *See* UPA § 20 (“[p]artners shall render on demand true and full information of all things affecting the partnership to any partner”). In addition, courts have

interpreted the UPA to require full disclosure of information material to partnership affairs even in the absence of an explicit demand, and the RUPA specifically imposes such an obligation. *See Griva v. Davison*, 637 A.2d 830 (D.C. 1994); *Silverberg v. Colantuno*, 991 P.2d 280 (Colo. App. 1998); RUPA § 403(c).

Finally, it is arguable that Carl breached his duty of care by failing to thoroughly investigate the facts before entering into the contract with Jane. The amount of money involved was substantial, and Carl arguably should have visited all 72 bars and checked all 127 machines, not just 50 bars and 98 machines, before entering the contract. The common law, the UPA, and the RUPA all impose on partners a general duty of care, including a duty to act in good faith when carrying out partnership business. *See generally* RUPA § 404.

However, the duty of care is generally violated only by “grossly negligent or reckless conduct, intentional misconduct, or a knowing violation of the law.” *See* RUPA § 404(c). Although Carl may have been negligent in failing to inspect all machines and was clearly wrong in failing to consult with Barbara and Adam before finalizing the deal, these omissions may not rise to the level of gross neglect (or worse) necessary to violate the duty of care. *See Duffy v. Piazza Construction, Inc.*, 815 P.2d 267 (Wash. Ct. App. 1991). From all that appears, Carl acted in the good faith belief that he was making a good deal for the partnership, he undertook an extensive (if incomplete) examination of the relevant information before agreeing to purchase the pinball machines, and his failure to consult with Adam and Barbara, while a violation of instructions, was consistent with the way the partnership had done business in the past. Under the circumstances, a breach of the duty of care may be difficult to establish.

There is no evidence of any self-interest in the transaction, and thus there is no duty of loyalty problem.

In summary, Carl likely did not breach his duty of care. He did, however, breach his duty of obedience and his duty to provide full information. He is therefore liable to the partnership for the losses resulting from either breach.

Question 6 Analysis

- Legal Problems:
- (1)(a) Should the State X court enforce the premarital agreement even though the party challenging the agreement lacked legal counsel?
 - (1)(b) Should the State X court uphold the provisions that waive the right to marital property and child support upon divorce?
 - (2) Is Ann's trust fund subject to distribution as marital property?

NOTE: Applicants answering this question in a community property state should use community property principles. For this purpose, the phrase "marital property" means community property.

DISCUSSION

Summary: The court will probably enforce the premarital agreement's provisions regarding property division. Ann appears to have voluntarily entered the agreement despite the fact that she lacked legal counsel. Although the absence of legal counsel would be a factor a court would consider in assessing voluntariness, the other facts suggest that the agreement was voluntarily entered into. However, the court will not enforce the premarital agreement's provision waiving child support because parents cannot waive a child's right to support. If the premarital agreement is upheld, then consistent with the terms, Burt cannot reach Ann's trust fund. If the premarital agreement is invalid, in most states Burt will not be able to obtain Ann's trust fund because it is separate property. The entire amount is separate property because the base amount was acquired before marriage and the appreciation in the fund is not the result of spousal labor.

Point One (a): The court in State X will probably enforce the premarital agreement, except for (40-50%) the provision on child support (see Point One(b)), because the agreement was voluntarily entered into.

Today in all states premarital agreements are enforceable and not void as "contemplating divorce." However, the premarital agreement will not be enforceable against Ann if she can prove that she involuntarily entered the agreement. American Law Institute, PRINCIPLES OF THE LAW OF FAMILY DISSOLUTION: ANALYSIS AND RECOMMENDATIONS § 7.04 cmt. b (2001) [hereinafter ALI PRINCIPLES] (both case law and statutes generally require that consent to a premarital agreement be voluntary); *see also* Uniform Premarital Agreement Act § 6(a)(1), 9B U.L.A. 373 (1987) [hereinafter UPAA]. Here no facts support duress, oppression or unfair

surprise. *See generally* ALI PRINCIPLES, *supra*, § 7.04 cmt. b; *see* Ira Mark Ellman, Paul M. Kurtz & Elizabeth S. Scott, FAMILY LAW: CASES, TEXT, PROBLEMS 800-01 (1998).

The fact that Ann did not have a lawyer will probably not affect the court's determination of whether Ann entered into the agreement voluntarily. Neither any state nor the UPAA mandates the assistance of independent counsel. Courts generally have not required independent counsel as a precondition to enforcing an agreement against an objecting party. *See* ALI PRINCIPLES, *supra*, § 7.04 cmt. e, reporter's note. Moreover, the lack of independent counsel is probably not enough to invalidate the agreement here. Ann was advised to obtain a lawyer, she had plenty of time before the marriage to do so, and her trust fund and job gave her the resources to do so.

Factors suggesting that the agreement was entered into voluntarily include the length of time between the date the premarital agreement was presented and the wedding (three months), and the fact that Ann's background permitted her to read and understand the agreement (she had a high school education); the factual history also indicates that Ann read the agreement, that she did not express any reservations about signing it, that Burt's lawyer told her of the agreement's exact effect, and that she had more assets than Burt when entering the marriage. The facts, on the whole, suggest that Ann voluntarily entered into the agreement.

Point One (b): A premarital agreement can address property division upon divorce but cannot (15-25%) bind a court on matters of child support.

In virtually all states, premarital agreements can include provisions about the disposition of property upon marital dissolution. *See, e.g.*, UPAA § 3(a)(3). *See also* ALI PRINCIPLES, *supra*, § 7.04 cmt. a. Therefore, the provisions on property division are not objectionable because of their subject matter.

However, almost all states agree that a child's right to support cannot be adversely affected by a premarital agreement. *See* UPAA § 3(b); Ellman, Kurtz & Scott, *supra*, at 839 ("The traditional rule is that a contract between prospective spouses cannot bind a court in deciding child support.").

The fact that the child support provision is probably invalid does not preclude enforcement of the rest of the agreement. Even if the court declares one or more provisions of the premarital agreement to be unenforceable, the remaining provisions may be valid and enforceable. Typically, if an agreement contains some unenforceable terms (such as an impermissible waiver of child support), the remaining terms may be enforced if the parties intended them to be enforceable even without the unenforceable terms. 17A C.J.S. CONTRACTS § 332, p. 309-310; Arnold H. Rutkin, 5 FAMILY LAW & PRACTICE § 59.04(4) (1999) ("The standard rules of contract law apply to antenuptial agreements."). *See, e.g., Rogers v. Yourshaw*, 448 S.E.2d 884, 887 (Va. Ct. App. 1994). Here there is no provision specifying whether the contract is entire or severable, and in all likelihood, the court would find it is severable and uphold the rest of the agreement.

Point Two: (15-25%) If the premarital agreement is valid, then it would independently shield the trust fund from Burt's claim. If the premarital agreement is valid, Burt will probably not be entitled to any of Ann's trust fund because it was separate property.

If the premarital agreement is valid (see Point One(b)), Burt waived his rights in Ann's separate property and would not be entitled to any part of the trust fund.

Even if the agreement were not enforced, property acquired before marriage is generally considered separate property. *See* ALI PRINCIPLES, *supra*, § 4.03 cmt. b. Therefore, Ann's trust fund of \$200,000 is her separate property. Typically, separate property is not subject to division in an equitable distribution or a community property regime.

Regarding the additional \$600,000 that represents the appreciation in the value of the trust fund, the general rule is that appreciation of separate property remains separate property if the appreciation is not attributable to spousal labor. ALI PRINCIPLES, *supra*, § 4.04 cmt. a. Since the facts state that Ann's father solely managed the trust, the property would be considered separate. About fourteen states, however, make all property subject to division upon divorce. *See* Uniform Marriage and Divorce Act (UMDA) § 307, Alternative A, 9 U.L.A. (Part I) 288 (1988). But even in these states, there is little to support Burt's contribution to the appreciation of the asset or his claim of need, the two factors primarily considered by courts in distributing property.

SECURED TRANSACTIONS V.A., V.B.

Question 7 Analysis

- Legal Problems:
- (1) When will a repossession be invalidated as having been conducted in breach of the peace?
 - (2) What are the requirements for a valid waiver of the right of redemption, and what must the debtor tender if the security agreement contains an acceleration clause?
 - (3) What are a debtor's remedies if a secured party fails to comply with the debtor's rights of redemption and seeks to recover a deficiency judgment?

DISCUSSION

Summary: It is debatable whether the repossession, which Bank had the right to carry out, was or was not conducted without a breach of the peace. In any case, Bank's refusal of Debtor's tender of the entire balance violated Debtor's rights because the right of redemption cannot be waived in the security agreement. Given that the repossession was unlawfully carried out because of Bank's refusal to accept Debtor's tender of redemption, Debtor is entitled to recover any damages caused by Bank's failure to comply with the rules relating to the repossession. This might include damages for loss of business. Debtor can also challenge Bank's claim for a deficiency, but, since the sale was commercially reasonable, it is unlikely that Debtor will prevail on his challenge.

Point One: Debtor can argue that Bank's repossession of the collateral was conducted in
(30-35%) breach of the peace. Bank equally can assert that its repossession was peaceable.

Section 9-609 of the Uniform Commercial Code provides that "after default, a secured party may take possession of the collateral," and may proceed without judicial process if this can be done "without breach of the peace." This "self-help repossession" is a significant right accruing to the secured party under Article 9's default provisions, and it may be exercised without giving prior notice to Debtor. Because Debtor was in default in its monthly payments in the amount of \$1,600, Bank was within its rights in repossessing the kitchen equipment, so long as Bank did so without a breach of the peace. UCC § 9-609.

"Breach of the peace" is not defined in Article 9. White and Summers suggest that claims of breach of the peace be analyzed with a "crude two-factor formula of creditor entry and debtor response . . . refined by a consideration of third-party response, the type of premises entered and

possible creditor deceit in procuring consent.” James J. White & Robert S. Summers, UNIFORM COMMERCIAL CODE, 5th ed. § 25-7, at 219 (2000).

Applicants should discuss a number of facts in considering whether the repossession was carried out without a breach of the peace. First, the repossession took place on business property, rather than in a private home. The courts are most sensitive to unauthorized entries into a debtor’s residence. *See* White & Summers, *supra*, § 25-7, at 220. Here, because the repossession took place at a business rather than at a home, the public policy against intrusion upon a debtor’s solitude and safety is less compelling.

Second, although Debtor was not present, Debtor’s employee was and Debtor’s employee objected to the repossession. White and Summers state: “An opposition to the entry or seizure, however slight and even though merely verbal, normally results in a breach of the peace. The law should not make a debtor physically confront a reposessor in order to sustain a claim of breach of the peace.” White & Summers, *supra*, § 25-7, at 221. On the other hand, some courts have held that oral protest alone does not unequivocally preclude self-help repossession. *See Clarin v. Minnesota Repossessors, Inc.*, 40 UCC Rep. Serv. 2d 316 (8th Cir. 1999) (no breach of peace where repossession took place in parking lot of debtor’s place of work, notwithstanding debtor’s initial oral protest). The Eighth Circuit in *Clarin* acknowledged that the “[c]ourts are divided on the issue of whether an unequivocal oral protest amounts to a breach of the peace.” *Id.* at 318. Moreover, the employee’s protest was less significant than the debtor’s own protest would have been.

Apart from the oral protest, the facts do not suggest that entry was otherwise obtained by a breach of the peace. The reposseors did not attempt repossession during regular business hours; they did not pick the lock or break a door down or otherwise damage Debtor’s business; the reposseors walked past the employee through an open door; the employee at first objected loudly, but later was quiet as the repossession proceeded; the employee did not physically attempt to halt the repossession or call law enforcement authorities; there was no threat of violence; Bank’s representative did not use a ruse or stealth to gain entry, but honestly stated the purpose of the visit.

Point Two: The right of redemption cannot be waived in the security agreement, and Debtor (30-35%) was entitled to redeem the collateral by tendering fulfillment of all obligations before Bank had disposed of the collateral. Debtor had to tender the entire loan balance due because the security agreement contains an acceleration clause. Bank’s refusal to accept a tender of the full balance due violated Debtor’s rights.

Section 9-623 of the UCC provides that a debtor may redeem collateral “at any time before a secured party has disposed of collateral or entered into a contract for its disposition under Section 9-610.” To redeem the collateral, debtor must tender “fulfillment of all obligations secured by the collateral” as well as the expenses reasonably incurred by the secured party in retaking, holding and preparing the collateral for disposition.

The right to redeem collateral is a mandatory right that may not be waived in the security agreement. *See* UCC § 9-602(11). As a result, the clause in the security agreement purporting to waive Debtor's right of redemption is ineffective. A waiver of Debtor's right to redeem is effective only if it is done "by an agreement to that effect entered into and authenticated after default." UCC § 9-624(c). There was no such agreement here. Thus, Debtor was entitled to redeem the collateral at the time he attempted to do so, because it was "before [the] secured party had disposed of the collateral . . . under Section 9-610." UCC § 9-623.

To redeem the collateral, a debtor must "tender fulfillment of *all* obligations secured by the collateral." UCC § 9-623. (emphasis added). Where, as here, the security agreement contains an acceleration clause, this would include the entire balance due on the loan. In addition, the redemption amount must include "the expenses reasonably incurred by the secured party in retaking, holding and preparing the collateral for disposition, in arranging for the sale, and to the extent provided in the agreement and not prohibited by law, [the secured party's] reasonable attorneys' fees and legal expenses." UCC § 9-623.

In this case, Debtor's initial tender of the amount of his arrearage in monthly payments was inadequate to redeem the collateral. When Debtor later offered to tender the full amount due, Bank made it clear that it would not accept any redemption. Bank based its refusal on the redemption waiver clause in the security agreement. But Part 6 of Article 9 deems such clauses unenforceable. In short, Bank's refusal to allow Debtor to redeem was a violation of Debtor's rights.

Point Three: Debtor is entitled to the remedies provided in UCC Sections 9-625 and 9-627.
(30-35%) Debtor may be able to recover damages if the repossession is found to be unlawful. It may also be able to challenge the imposition of a deficiency judgment.

Sections 9-625(a) and (b) of the UCC provide: "If it is established that a secured party is not proceeding in accordance with this article, a court may order or restrain . . . disposition of collateral. . . . A person is liable for damages in the amount of any loss caused by a failure to comply with this article."

A commercially reasonable sale under § 9-610 has already taken place. Thus, Debtor now must seek to recover from Bank for "any loss caused by a failure to comply" with Article 9. Presumably, this would include any loss attributable to the failure of Bank to allow Debtor to redeem and may include any loss attributable to improper repossession (assuming that Debtor can prove a breach of the peace was committed).

The collateral in this case—stove, refrigerator, freezers, and microwave oven for use in Debtor's restaurant business—would be classified as "equipment" ("used or bought for use primarily in business") under § 9-102(33). In the case of business equipment, Article 9 provides no clear guidance on the question of measuring damages for "any loss caused by a failure to comply with this article." White and Summers state that a debtor's "loss" for these purposes "is probably the difference between the net amount actually realized on resale and the amount that would have

been realized had the creditor complied with the Code's requirements." James J. White & Robert S. Summers, UNIFORM COMMERCIAL CODE § 25-11, at 931 (4th ed. 1995) (interpreting old § 9-507). The new Code states expressly, however, that damages should also include, in appropriate cases, such consequential losses as those caused by the "debtor's inability to obtain . . . alternative financing." UCC § 9-625(b). Some commentators endorse the possibility of punitive damages. See B. Clark, THE LAW OF SECURED TRANSACTIONS UNDER THE UNIFORM COMMERCIAL CODE ¶ 4.12[2], at 4-175 (1988).

In addition, UCC § 9-626 authorizes denial of a deficiency judgment when the creditor has failed to comply with Article 9's rules concerning the "collection, enforcement, disposition or acceptance" of collateral. Article 9 adopts the so-called "rebuttable presumption" rule: Where the creditor has violated a relevant rule, the creditor will not be allowed to obtain a deficiency judgment unless the creditor proves that the amount that "would have been realized" if the creditor had acted properly "is less than" the amount to which the creditor was entitled. UCC § 9-626(a)(4). However, reduction of a deficiency appears to preclude a debtor from also recovering actual damages. See UCC § 9-625(d).

In this case, Debtor might argue that consequential damages should include damages for loss of business opportunity, because Bank's wrongful repossession and/or refusal to permit redemption resulted in the closure of Debtor's business. Consequential damages must be reasonably foreseeable under the traditional rule of *Hadley v. Baxendale*, 156 Eng. Rep. 145 (1854). It is arguably foreseeable to the creditor that an improper refusal to allow redemption of essential kitchen equipment may result in substantial business losses to a restaurant operation. In addition, Debtor might argue that Bank's refusal to allow redemption interfered with Debtor's ability to secure alternative financing because it deprived Debtor of the collateral necessary for an alternative loan.

On the other hand, apart from these consequential damages, it will be difficult for Debtor to establish any loss. The sale of the kitchen equipment was commercially reasonable, and there is no evidence that Bank's wrongful conduct affected the price it received for the equipment. Consequently, Bank may well be able to establish that it is entitled to a deficiency judgment, despite its violations of Article 9.

Debtor had the absolute obligation to mitigate his damages. If he had enough money to pay off the balance and Bank's expenses, then he naturally had enough money to appear at Bank's foreclosure sale and buy the equipment back at the sale. Debtor would still have damages for interim loss of business, his own expenses, attorneys' fees, etc., but Debtor may be unable to recover for permanent loss of business.

2004 MEE
Questions and Analyses

2004 MEE Questions and Analyses

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Preface

This publication includes the questions and analyses from the February 2004 and July 2004 Multistate Essay Examinations. Each test includes seven questions; most jurisdictions that use the MEE select the six questions their applicants will answer.

The model analyses to the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions for the sole purpose of assisting graders in grading the examination. These models are not an official grading guide. Some jurisdictions grade the MEE on the basis of state law, and jurisdictions are free to modify the analyses as they wish, including the suggested weights given to particular points. Grading of the MEE is the exclusive responsibility of the jurisdiction using the MEE as part of its admissions process.

The topic or topics covered by each question are listed on the first page of its accompanying analysis, followed by Roman numerals which refer to the MEE subject matter outline for that topic. For example, Question 4 on the February 2004 MEE tested Agency and Partnership I, agency relationships, II.B, apparent authority, and III, vicarious liability of principal. Subject matter outlines are included in the *MEE Information Booklet* and can also be found at www.ncbex.org.

Description of the MEE

The MEE is a three-hour examination consisting of six questions. The examination is administered in one continuous three-hour time period. Applicants are expected to spend approximately thirty minutes answering each of the questions. The areas of law covered by the questions in the examination are: Agency and Partnership, Commercial Paper, Conflict of Laws, Corporations and Limited Liability Companies, Decedents' Estates, Family Law, Federal Civil Procedure, Sales, Secured Transactions, and Trusts and Future Interests. Some questions include issues in more than one area of law.

The purpose of the MEE is to test the applicant's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the applicant to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test form contains the following instructions:

Do not break the seal on this booklet until you are told to begin.

You will have three hours in which to write your answers to six of the seven questions contained in this booklet; you will be told which of the questions you are to answer. Each question is designed to be answered in thirty minutes. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise, simply draw a line through the material you wish to delete.

Read each fact situation very carefully and do not assume facts which are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show: an understanding of the facts; a recognition of the issues included; the applicable principles of law; and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Some jurisdictions instruct applicants to answer MEE questions according to the law of the jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

February 2004
Questions

Question 1

In 1995, Testator, age 85, executed a will in the presence of two witnesses. Immediately before signing the document, Testator's attorney asked Testator if she declared the instrument to be her will. Testator responded: "You bet it is. I want Charity to have everything. My family has enough." Then the attorney had Testator sign the document on the line provided for her signature. The two witnesses signed immediately below Testator's signature without any further direction or comment from Testator.

When Testator executed this will, she was suffering from cancer and her medications made it very difficult for her to remember facts. For example, when she executed her will she knew, correctly, that her estate was worth \$500,000 and that she had previously made large gifts to her child and some of her grandchildren. However, she could neither remember the name of her stockbroker nor recount the names of her stocks under her stockbroker's management. Also, she had no difficulty correctly naming her child and all of her grandchildren, but she could not recall that she had a great-grandchild. She also knew she owned both a home and a condominium but could not recall the precise street address for either residence.

Testator died in 2002 survived by her only child, Mary, and by three grandchildren and one great-grandchild, all of whom are descendants of Mary. Testator's will, which devised her entire estate to Charity, was timely offered for probate by Bank, the executor named in the will. Mary and one of her children, Grandchild, have initiated a timely contest of the will.

Governing state law provides that a will is properly executed if the testator signs the will in the presence of two witnesses after having (a) declared the instrument to be her will, and (b) requested the witnesses to act in such capacity.

1. Do Mary and Grandchild each have standing to contest Testator's will? Explain.
2. On what theory or theories, other than undue influence, might a person with standing contest Testator's will, what defenses might Bank, as executor, assert, and what is the likely outcome? Explain.

Question 2

Bill purchased a used car from Sally and paid her \$15,000 with a check drawn on his account at Local Bank. The check was payable to the order of Sally and was certified by Local Bank. Sally accepted the certified check and gave Bill the car and its paper title.

Before Sally had a chance to deposit the check, it was stolen by Thief. Thief forged Sally's indorsement on the check, then indorsed the check with his own signature underneath Sally's forged signature and deposited the check into his own bank account at Depositary Bank.

Depositary Bank provisionally credited Thief's account for \$15,000 and forwarded the check for payment to Local Bank, which made final payment. Thief then withdrew \$15,000 from his checking account at Depositary Bank and disappeared.

In the meantime, Sally contacted Bill and asked him to stop payment on the certified check. Before Bill could contact Local Bank, however, it had already made final payment on the check.

Sally now demands payment from Bill, who refuses on the ground that he has already paid her. Sally is also demanding \$15,000 from both banks.

1. What rights of recovery, if any, does Sally have against Bill? Explain.
2. What rights of recovery, if any, does Sally have against Depositary Bank and/or Local Bank as a result of the payment made to Thief for the amount of the certified check?
3. If Local Bank paid Sally the amount of the certified check, what rights would Local Bank have against Depositary Bank? Explain.

Question 3

NOTE: Applicants answering this question in a community property state should use community property principles. For this purpose, the phrase “marital property” means community property

Harold is the CEO and sole owner of a real estate business that he began about 25 years ago, shortly after he married Wendy. Wendy quit her job when they married and has ever since been a full-time homemaker. Last year, Harold became romantically involved with Carol, an employee of his real estate business. Wendy recently discovered this affair and also learned that Harold had bought expensive gifts for Carol, including a house purchased in Carol's name. Wendy sued Harold for divorce, based on his adultery with Carol.

Wendy would agree that she has never been a good housekeeper. The house was often dirty until the weekly visit by a cleaning company. Meals were often brought in from local restaurants. Wendy spent much of her time tending to the couple's two children, who are now adults, although a live-in nanny helped her until both children entered school. At Harold's request, Wendy occasionally entertained Harold's clients.

Harold has sole title to the real estate business and a private vested pension to which he has contributed since beginning his real estate business. Harold and Wendy have joint title to their family home and a bank account. These assets were acquired with funds Harold earned during the marriage. Wendy has sole title to 1,000 shares of stock she inherited shortly after she married Harold.

1. Are the real estate business, Harold's pension, the jointly titled family home, the joint bank account, and the stock subject to division at divorce? Explain.
2. What effect, if any, would Harold's affair with Carol and his gifts to her have on any property division? Explain.
3. What arguments regarding property division are available to Harold and Wendy based on Wendy's role as a mother and homemaker? Explain.

Question 4

Motorist was driving his automobile in the northbound lane on a highway in State X. Exceeding the posted maximum speed limit by 10 miles per hour, Motorist was gaining on a slow-moving U.S. Army truck convoy traveling in the same lane. At the same time, a motorcycle, driven by Husband with Wife as a passenger, was approaching the convoy from the opposite direction. Husband was operating the motorcycle at the posted speed limit and was traveling in the proper (southbound) lane.

The soldier driving the last truck in the convoy was feeling drowsy because he had not slept the night before. Suddenly, realizing that he had driven his truck far too close to the Army truck just ahead of him, he slammed on his brakes. Motorist, who had nearly overtaken the convoy, reacted to the sight of the truck's brake lights by frantically swerving his automobile into the southbound lane, where he sideswiped Husband's motorcycle. Husband was thrown to the pavement and seriously injured. Wife, however, miraculously avoided physical injury.

At the time of the accident, Husband and Wife were citizens of State Y, but a few months later they moved permanently to State X. Motorist was at all times a citizen of State X.

Shortly after moving to State X, Husband and Wife filed an action in the United States District Court for the District of State X seeking to recover for the injuries they suffered as a result of the accident. In the action, Husband claimed \$50,000 in damages for his injuries, and Wife claimed \$5,000 for her loss of Husband's consortium. They named as defendants both the United States of America and Motorist. Their claims against the United States are based on the Federal Tort Claims Act, which provides that federal district courts have exclusive jurisdiction over tort claims against the United States government. Their claims against Motorist are based on the tort law of State X, where the accident occurred.

1. Can Husband and Wife, as plaintiffs, join their respective personal injury and loss of consortium claims in a single action in the U.S. district court? Explain.
2. Can Husband and Wife join their respective claims against the United States and Motorist, as defendants, in a single action in the U.S. district court? Explain.
3. Does the U.S. district court have subject matter jurisdiction over the state law claims of Husband and Wife against Motorist? Explain.

Question 5

PC is a professional law corporation formed by Ted and Teresa. In 2002, PC obtained a \$100,000 line of credit from First Bank, and PC authenticated a security agreement that granted First Bank a security interest in “all of PC’s equipment, now owned or hereafter acquired.”

Although PC did not specifically authorize it, First Bank promptly filed a financing statement in the appropriate state offices. The financing statement, which PC had not signed, recited erroneously that First Bank had a security interest in “all of PC’s equipment, inventory, and accounts receivable.” PC knew that First Bank had filed a financing statement but was unaware that the financing statement covered collateral not mentioned in the security agreement.

In 2003, PC entered into contracts to provide legal services to a number of municipalities, one of which was the City of Eden. To perform these contracts, PC decided to expand its operation by hiring an additional attorney, adding office staff, and increasing its office space. When First Bank refused to increase PC’s line of credit to finance the expansion, PC approached Second Bank about obtaining a separate business expansion loan.

Second Bank agreed to loan PC \$100,000, provided the loan was secured by a first security interest in PC’s accounts receivable. However, the arrangement fell through when Second Bank discovered that First Bank had already filed a financing statement covering PC’s accounts receivable. First Bank ignored repeated requests from PC to terminate or amend the financing statement, and Second Bank was unwilling to make a loan until First Bank’s filing was changed. As a result, PC was not able to secure financing from Second Bank.

Because of its inability to secure this financing, PC was unable to hire additional staff and could not adequately perform the contracts. After PC’s attorneys failed to attend two important city council meetings because they were occupied with other duties, the City of Eden terminated its contract with PC, a contract that PC had expected to generate \$250,000 in revenue over two years.

Also in 2003, Luke, a former employee of PC’s, sued PC and won a judgment for \$50,000. Luke immediately obtained a judicial lien against all of PC’s assets, including its equipment and accounts receivable.

1. As between Luke and First Bank, who has the superior claim to PC’s equipment? Explain.
2. As between Luke and First Bank, who has the superior claim to PC’s accounts receivable? Explain.
3. What claims, if any, does PC have against First Bank under the Uniform Commercial Code? Explain.

Question 6

One year ago, Randy and Sandy formed a partnership to manufacture widgets. They did not enter into a written partnership agreement. Randy contributed \$10,000, and Sandy contributed \$5,000 to the partnership. They participated equally in the management of the partnership and shared the profits equally.

The widget market has since declined, and business has been slow. Last Monday, Randy told Sandy, "I don't want to do this anymore. I am quitting this partnership." Randy then left town on an extended vacation. At that time, the partnership still had some short-term widget contracts to fulfill and owed trade creditors \$30,000.

The next day, Barney, a widget broker, met with Sandy at the widget factory. Barney knew about Randy and Sandy's partnership but had not previously done business with the partnership. For over a month, Sandy had been soliciting a long-term contract to produce widgets for Barney. Without telling Barney about Randy's statement the previous day, Sandy, on behalf of the partnership, entered into a contract with Barney to produce 500,000 widgets a year for three years.

After Randy's departure, Sandy, using her own funds, paid the \$30,000 owed to trade creditors.

1. What is the effect of Randy's statement, "I don't want to do this anymore. I am quitting this partnership"? Explain.
2. Is the partnership bound by the contract with Barney? Explain.
3. What contribution, if any, can Sandy claim from Randy for Sandy's \$30,000 payment to trade creditors? Explain.

Question 7

Testator, a widower, died one year ago at the age of 86 survived by his only two children, Angela and Brian (ages 40 and 45), twelve grandchildren (ranging in age from 17 to 27), and six great-grandchildren (ranging in age from 2 to 7). Testator's will bequeathed his entire estate to his "great-grandchildren living when my will is probated." Testator's will was probated two months after Testator died.

Before he died, Testator created a revocable trust with Friend as trustee. Friend was a longtime confidante of Testator and his family, with intimate knowledge of all of their financial and personal affairs. The trust provided that upon Testator's death the trust income could be paid to and among Testator's issue in such shares as Friend determined, with any unpaid income to be accumulated. It also provided that upon the death of Angela and Brian, the trust would terminate, and the corpus would be distributed to Testator's then living issue.

The trust contained no provisions relating to its administration. Because Friend was not very experienced in the administration of trusts and particularly in selecting appropriate trust investments, she interviewed a number of possible bank trust officers to assist her in administering the trust. Then she contracted with Bank, an institution wholly unfamiliar with Testator's family, to make all determinations regarding the distribution of trust income and how the trust's assets should be prudently invested.

Bank immediately sold all of the trust assets and reinvested all of the proceeds in XYZ Corporation, a telecommunications company whose shares are publicly traded. Bank paid \$60 per share for this stock. Today, however, each share is worth only \$21. The loss in value is due to the general decline in the telecommunications industry and not to any inherent weaknesses in XYZ.

Twice, after contracting with Bank, Friend called Bank to see how things were going. On these two occasions Friend was advised that "all is well." Friend never made further inquiries.

The common-law Rule Against Perpetuities, as modified by the wait-and-see doctrine, applies in this jurisdiction.

1. To whom should Testator's probate estate be distributed? Explain.
2. What fiduciary duties, if any, did Friend breach with respect to the trust? Explain.

February 2004
Analyses

DECEDENT'S ESTATES II.A, II.J

Question 1 Analysis

- Legal Problems:
- (1) Do Mary and Grandchild each have standing to contest Testator's will?
 - (2) Can Testator's will be successfully contested on the grounds of:
 - (a) lack of mental capacity?
 - (b) lack of due execution?

DISCUSSION

Summary: Mary has standing to contest the will because, if the will were denied probate, she would be Testator's sole heir. On the other hand, Grandchild lacks standing to contest the will because if the will were denied probate, Grandchild would not be entitled to any share of Testator's estate. Mary, who is entitled to contest the will, is not likely to be successful on the ground of lack of mental capacity but might prevail on the ground of lack of due execution in states applying the strict compliance doctrine.

Point One: (20-30%) Mary has standing to contest the will. However, Grandchild does not have standing to contest the will.

Wills can be contested only by persons who would be better off financially if the will were denied probate than they would be if the will were admitted to probate. *See generally* William M. McGovern & Sheldon F. Kurtz, WILLS, TRUSTS, AND ESTATES 464 (2d ed. 2001). If the rule were otherwise, wills would be subject to suits by persons seeking to extort money from legitimate beneficiaries who want to avoid litigation.

Under the laws of all states, an intestate's children take to the exclusion of their own descendants. Thus, if Testator's will were denied probate, Testator's entire estate would pass to Mary; nothing would pass to the grandchildren or great-grandchild. Mary, therefore, would have standing to contest the will because as Testator's only child she would be her only heir if the will were denied probate. On the other hand, Grandchild would not be financially better off if the will were denied probate and, thus, would lack standing to contest the will.

Point Two (a): (30-40%) Testator probably had the mental capacity to execute a will at the time she executed it.

In order to execute a will, a testator must have mental capacity. A testator meets this requirement if the testator knows (1) the nature and extent of her property, (2) the persons who are the natural objects of the testator's bounty and have the highest moral claims to the testator's property, (3) the disposition the testator is attempting to make, and (4) the interrelationship of these items in connection with the testamentary plan formulated in the will. *See generally* Jesse Dukeminier & Stanley M. Johanson, *WILLS, TRUSTS AND ESTATES* 163 (6th ed. 2000).

All persons are afforded the presumption that they have mental capacity. As a result, the burden of proving that the testator lacks mental capacity rests on the contestant to the will. Here, there are two arguments to support a will contest on mental incapacity grounds, although Bank has good responses to both arguments.

First, Testator arguably did not know the nature and extent of her property. Testator could not identify the stocks that she owned or name the stockbroker who managed them. Also, she could not recall the addresses of her two residences. On the other hand, she did know what she was worth and she did know that she owned two residences. Thus, whether she lacked mental capacity on this ground may ultimately depend on how precise a testator must be regarding the nature and extent of her property. Courts often are very lenient and uphold the wills of elderly testators who at least grasp the big picture about their financial affairs. Furthermore, because of the burden of proof, in a very close case the contestant will lose.

Second, Testator could not identify one of the persons with a high moral claim to her property, namely her great-grandchild. On the other hand, Testator could identify her more closely related relatives, and in particular Mary, whom she was intending to disinherit. Her failure to recall whether she had a great-grandchild probably would not be dispositive of her mental capacity. Courts have not required elderly testators to know the number of their remote descendants, particularly in a mobile society where people may have infrequent contacts with grandchildren and great-grandchildren.

Point Two (b): Testator's will was not duly executed under the strict compliance doctrine but (30-40%) could be upheld as valid if the court either adopts the substantial compliance doctrine or infers that Testator requested the witnesses to sign.

At common law, if the execution of a will did not strictly adhere to the required formalities, the will would be invalid and the testator would have died intestate. The facts state that under the governing law, a properly executed will must be signed by the testator in the presence of two witnesses after the testator has declared the instrument to be her will and has requested that the witnesses act in such capacity. Here, the signing, witnessing, and declaration requirements have been satisfied, but the facts state that Testator did not specifically request the witnesses to act as such. Thus, courts adhering to the strict common-law approach (known as the strict compliance doctrine) would invalidate the will. *See generally* McGovern & Kurtz, *supra*, at 170-72.

On the other hand, statutes in some states and a judicial decision in at least one state have tempered the harsh consequences of the common-law rule by adopting a "substantial compliance" approach to determining whether a will has been validly executed. *See generally* John H. Langbein, *Substantial Compliance with the Wills Act*, 88 HARV. L. REV. 489 (1975).

Under this approach, if the execution of a will substantially complies with most of the formalities, or at least the most important of them, the will is valid. *See, e.g., In re Will of Ranney* 124 N.J. 1, 589 A.2d 1339 (1991) (will valid even though witnesses only witnessed the self-proving will affidavit and did not witness the actual will).

Similarly, ' 2-503 of the Uniform Probate Code (UPC) grants a court a so-called “dispensing power” under which a court can probate a will when its execution failed to comply with all of the execution formalities so long as the evidence is clear and convincing that the decedent intended the document to be her will. In this case, the failure to request that the witnesses act as such when they signed in the physical presence of Testator can easily be ignored under this statute if, as the facts suggest, Testator clearly intended Charity to take under her will. The statement, “My family has enough” is evidence of Testator’s intent.

It might also be argued from the context and surrounding circumstances that Testator implicitly asked the witnesses to sign even if she did not do so expressly. She saw them sign, and she declared the instrument to be her will. At least one court has adopted that approach and thus avoided an all-out adoption of the substantial compliance theory. *See Matter of Graham’s Estate*, 295 N. W.2d 414 (Iowa 1980).

COMMERCIAL PAPER III.B, IV.H, V.E., V.G, V.H, V.K

Question 2 Analysis

- Legal Problems:
- (1) Does the payee of a certified check have rights against the drawer when the check is stolen and payment is received by a person not entitled to enforce the instrument?
 - (2) Does the payee of a stolen certified check have rights against the banks that collect or pay the stolen check when the payee's indorsement was forged and the check is paid to a person not entitled to enforce it?
 - (3) Does a bank that pays a forged-indorsement check have the right to recover the amount of payment from a bank that presented the check for payment?

DISCUSSION

Summary: Sally cannot recover from Bill because he has no liability on a certified check, and his underlying obligation was discharged when Sally took the certified check from him in satisfaction of that obligation. Sally does have a conversion claim against both banks because they allowed Thief, a person not entitled to enforce the check, to receive payment on it. As between the banks, Local Bank can recover from Depository Bank, which should bear the loss because it took the check from Thief and breached a warranty (no unauthorized indorsements) when it presented the check to Local Bank for payment.

Point One: (30-35%) Because Bill paid Sally with a certified check, his underlying obligation to pay for the car was discharged when Sally accepted the check. Moreover, Bill's obligation as drawer of the check was discharged when the check was certified by Local Bank.

When Sally accepted a certified check from Bill in payment for the car, Bill's underlying obligation to pay for the car was discharged "to the same extent discharge would result if an amount of money equal to the amount of the instrument were taken in payment." *See* UCC ' 3-310(a). The certified check is treated as the equivalent of cash. Sally's acceptance of the certified check fully discharges Bill's obligation on the underlying transaction.

Bill's obligation as drawer of the check was fully discharged by Local Bank's certification of the check. *See* UCC ' 3-414(c). This is because the certified check is an obligation of Local Bank, *see* UCC ' 3-413, and the Code assumes that the holder of a certified check takes or holds the

check in reliance on the certifying bank's obligation rather than on the drawer's obligation. UCC ' 3-414, cmt. 3.

Point Two: As the owner of the check, Sally has a conversion claim against both Depository
(30-35%) Bank and Local Bank.

UCC ' 3-420(a) provides that a bank that makes or obtains payment for a person not entitled to enforce the instrument is liable for conversion of the check. The liability runs in favor of the true owner or the person entitled to enforce the instrument, and is "presumed to be the amount payable on the instrument." UCC ' 3-420(b).

Sally is the owner of the check. In addition, Sally is the only person entitled to enforce the instrument because the check was payable to Sally at the time of the theft. *See* UCC " 3-201(a) & (b), 3-301. Absent Sally's indorsement, Thief could not become a person entitled to enforce the check. Thus, when Local Bank made final payment on the check for Thief's benefit, it became liable in conversion to Sally, the true owner of the check. UCC ' 3-420(a). Similarly, Depository Bank, which ultimately gave Thief final credit for his deposit of the check, is liable in conversion to Sally because it obtained payment for a person not entitled to enforce the check (i.e., Thief).

Sally's damages for conversion against either of the two banks would be \$15,000, the face amount of the check, under UCC ' 3-420(b). She can recover no more than \$15,000.

Point Three: Local Bank may recover from Depository Bank because Depository Bank
(30-35%) breached a presentment warranty.

As the first party to pay Thief, Depository Bank will bear the loss if Thief is not found. The reason for this result is the operation of the warranty rules in Article 3 of the UCC. Under UCC ' 3-417(d)(1), any party (including a bank) that presents a certified check for payment warrants to the person making payment that the person obtaining payment is entitled to enforce the instrument or is acting on behalf of someone entitled to enforce the instrument. That warranty was breached by Depository Bank because Sally was the only person entitled to enforce the instrument (the check was payable to her and she had not indorsed it). Depository Bank clearly was not acting on Sally's behalf. It presented the check on behalf of Thief and credited the amount of the check to Thief's account after receiving payment from Local Bank. Section 3-417 (d)(1) is "in effect . . . a warranty that there are no unauthorized or missing indorsements." *See* Comment 2 to ' 3-417. Because the check included an unauthorized indorsement, the warranty was breached and Depository Bank is liable to Local Bank.

The amount recoverable for this breach of warranty is the amount Local Bank paid on the check plus expenses and loss of interest resulting from the breach. UCC ' 3-417(d)(2). Here the recovery from Depository Bank would be at least the face amount of the check, \$15,000.

FAMILY LAW III.D

Question 3 Analysis

- Legal Problems:
- (1) What property is subject to division on divorce?
 - (2) Will a court consider Harold's adultery or his gifts to Carol in dividing property upon divorce?
 - (3) Will a long-term homemaker's role be relevant to a determination of that spouse's share of the property upon divorce?

NOTE: Applicants answering this question in a community property state should use community property principles. For this purpose, the phrase "marital property" means community property.

DISCUSSION

Summary: The real estate business, the joint bank account, the jointly titled family home, and the pension are all subject to division as "marital property" because they were acquired with funds earned by a spouse during the marriage. In most states, Wendy's stock would not be subject to division because it was acquired by inheritance and is Wendy's separate property. However, a minority of states allow courts to divide even this separate property.

Most states would not consider Harold's affair with Carol relevant to the division of property but would consider Harold's large gifts to Carol as relevant.

All equitable distribution statutes require consideration of both need and contribution. Wendy's homemaking services would be relevant because they provide a basis for arguments about both her need and contribution. Wendy and Harold will make very different arguments about how Wendy's role as a homemaker and mother should affect property distribution. Ultimately, it is impossible to predict the weight the court would place on Wendy's contribution or her need in making the overall property award.

Point One:
(25-35%) All of Harold and Wendy's assets that were acquired with funds earned by Harold during the marriage are marital property subject to division on divorce. Wendy's stock, which was acquired by inheritance, would be subject to division only in those states that authorize the division of all property.

A majority of states require the court to first classify the property held at the time of the divorce as marital or separate and authorize the court then to divide the marital property. In the eight community property states, community property is treated much the same as marital property. Definitions of marital and community property are nearly identical. Homer H. Clark, Jr. & Ann L. Estin, DOMESTIC RELATIONS: CASES AND PROBLEMS 732 (6th ed. 2000). As a result, all states will allow the court to distribute marital or community property, which includes all property derived from earnings during the marriage. *See* American Law Institute, PRINCIPLES OF THE LAW OF FAMILY DISSOLUTION ' 4.03, Proposed Final Draft, Part I (1997).

All of the property, except Wendy's stock, will be considered marital property in a common-law state or community property in a community property state. The *real estate business*, the *pension*, the *jointly titled family home*, and the *joint bank account* were acquired with spousal earnings. How the assets are titled is irrelevant.

Wendy's *stock* will not be subject to division in the majority of states. It is Wendy's separate property because Wendy inherited it. *See* ALI PRINCIPLES, *supra*, ' 4.03. An inheritance is the separate property of the spouse who inherits it, even if the spouse acquires it during the marriage. *Id.*

A minority of states (about fourteen) authorize the courts to divide all the property held by the spouses at the time of divorce without regard to when, how, or by whom the property was acquired or how the title was held—the so-called “hotchpot” approach. *See* Uniform Marriage and Divorce Act (UMDA) ' 307, Alternative A, 9 U.L.A. (Part I) 288 (1988). In those states, the stock will be subject to division.

Point Two: In the majority of jurisdictions, adultery is not relevant to division of property at divorce, but dissipation of assets is relevant. Harold's large gifts to Carol would qualify as dissipation.
(20-25%)

The majority of states do not allow for consideration of adultery in the division of property. Harry Krause, FAMILY LAW 163 (2d ed. 1996). A minority of states could consider Harold's adultery when making a division of property. *See* Ira Mark Ellman, Paul M. Kurtz & Elizabeth S. Scott, FAMILY LAW: CASES, TEXT, PROBLEMS 284 (3d ed. 1998) (citing those few states in which the courts will consider adultery as a factor in property division). Therefore, in most jurisdictions the fact that Harold had an affair would not be relevant to the property distribution.

In virtually all states, however, “economic” fault, including dissipation of marital assets, is relevant to property distribution. *See* Ellman, Kurtz & Scott, *supra*, at 414 (mentioning “general agreement that dissipation of assets is a relevant factor in the equitable distribution of property”). *See also* Uniform Marriage and Divorce Act (UMDA) ' 307, Alt. A. (directing a court to divide property “without regard to marital misconduct,” yet to consider, *inter alia*, “the contribution or dissipation of each party in the acquisition, preservation, depreciation, or appreciation in the value of the respective estates”).

Dissipation is generally thought to be “the use of marital property for the sole benefit of one of

the spouses for a purpose unrelated to the marriage at a time that the marriage is undergoing an irreconcilable breakdown.” *In re Marriage of O’Neill*, 563 N.E.2d 494, 497 (Ill. 1990). Harold’s expenditures on Carol were large, were for a nonmarital purpose, inured solely to the benefit of Harold, and were made during the breakdown of the marriage. Therefore, these expenditures would be relevant in dividing the property. The remedy would be either to include the value of the gifts to Carol in the marital estate or to consider the dissipation when making the ultimate distribution of the remaining property. *Ellman, Kurtz & Scott, supra*, at 416.

Point Three: In most jurisdictions, Wendy’s role as a homemaker and parent would be (20-25%) relevant to equitable property distribution, both as a contribution to the marriage and as an indicator of need.

In all equitable distribution states, spousal contribution and need are the primary factors in property division. Homemaking and parenting are recognized forms of spousal contribution. These same services, when they substitute for paid employment over a lengthy period, will also evidence a spouse’s need. *See* ALI PRINCIPLES. Therefore, Wendy’s services would provide the basis for two different types of property distribution arguments.

Most states do not assign any particular value to homemaking services and would permit Harold to argue that Wendy’s contribution was minimal, given her modest homemaking skills and heavy reliance on paid help. *See Ferguson v. Ferguson*, 639 So. 2d 921 (Miss. 1994); *In re Betz*, 880 S.W.2d 618 (Mo. Ct. App. 1994); *Williams v. Massa*, 728 N.E.2d 932, 942 (Mass. 2000). But some equitable distribution states have a presumption that a homemaker’s contribution is equal to a breadwinner’s and that an equal division is most just. *See, e.g., Brown v. Brown*, 914 P.2d 206, 209 (Alaska 1996); Or. Rev. Stat. ‘ 107.105(1)(f). Whether such a presumption can be rebutted by evidence that the contribution of the homemaker was not equal to that of the breadwinner varies by state. *Compare* Wis. Stat. Ann. ‘ 767.255(3)(d) with *Hammond v. Brown*, 1995 WL 546903, *2 (Ohio App. 8 Dist., Cuyahoga County, Sep. 14, 1995).

Wendy will likely argue that her homemaking contributions played a significant role in the acquisition of the marital property. She would emphasize the fact that her role as a full-time homemaker and parent freed Harold to devote time to building his business. She would also emphasize her services in entertaining Harold’s clients.

Wendy will also argue that her role as a long-term homemaker has greatly increased her need for marital property by reducing her capacity for self-support and asset accumulation. This claim would be difficult for Harold to rebut.

Given that equitable property distribution is highly discretionary, it is impossible to estimate how much weight the court would place on Wendy’s need as compared to her contribution. It is also impossible to determine how the court would evaluate Wendy’s and Harold’s contribution-based arguments.

In the small minority of states that require equal division of marital property, arguments about Wendy’s contribution and need would, of course, be unavailable to both parties.

FEDERAL CIVIL PROCEDURE I.A, IV.C

Question 4 Analysis

- Legal Problems:
- (1) Can Husband and Wife join their respective personal injury and loss-of-consortium claims in a single action in the U.S. district court?
 - (2) Can Husband and Wife join their respective claims against the United States and Motorist in a single action in the U.S. district court?
 - (3) Does the U.S. district court have subject matter jurisdiction over the state law claims?

DISCUSSION

Summary: Rule 20(a) of the Federal Rules of Civil Procedure permits Husband and Wife to assert their federal and state law claims against the United States and Motorist because their claims arose out of the same transaction. Although the court would not have diversity jurisdiction in an action by Husband and Wife against Motorist if such an action were brought on its own, the court has supplemental jurisdiction over that claim because it shares a “common nucleus of operative fact” with Husband and Wife’s federal question claim against the United States.

Point One: Federal Rule 20(a) permits Husband and Wife to join their respective personal
(15-25%) injury and loss-of-consortium claims in a single action.

Federal Rule of Civil Procedure 20(a) permits plaintiffs to join their claims in a single action when those claims arise out of a single event and share at least one common issue of law or fact. The rule provides, in relevant part: All persons may join in one action as plaintiffs if they assert any right to relief jointly, severally, or in the alternative in respect of or arising out of the same transaction, occurrence, or series of transactions or occurrences and if any question of law or fact common to all these persons will arise in the action.

Again, the requirements of Rule 20(a) are clearly met on these facts. The claims of each plaintiff against the United States and Motorist arise out of the same occurrence and involve at least one common issue of fact or law (for example, the extent of Husband’s injuries). When this is so, the Federal Rules permit (but do not require) a party to join two or more defendants in a single action.

NOTE: Rule 20(a) does not confer subject matter jurisdiction on the U.S. district court to hear the respective claims of the plaintiffs. It simply provides the mechanism for joining claims over which the Constitution and the Congress have given it subject matter jurisdiction. Accordingly,

the joinder of Husband and Wife as party plaintiffs is proper, provided the U.S. district court has subject matter jurisdiction over the claims by each plaintiff. *See* Point Three below.

Point Two: Federal Rule 20(a) permits Husband and Wife to join their respective claims
(15-25%) against the United States and Motorist in a single action.

Just as Rule 20(a) permits plaintiffs to join in an action, it permits a plaintiff or plaintiffs to join defendants where the plaintiff(s)' claims against each defendant arise from a single transaction and share a common issue of fact or law. The rule provides, in relevant part:

All persons . . . may be joined in one action as defendants if there is asserted against them jointly, severally, or in the alternative, any right to relief . . . arising out of the same . . . occurrence . . . and if any question of law or fact common to all defendants will arise in the action.

Again, the requirements of Rule 20(a) are clearly met on these facts. The claims of each plaintiff against the United States and Motorist arise out of the same occurrence and involve at least one common issue of fact or law (for example, the extent of Husband's injuries). When this is so, the Federal Rules permit (but do not require) a party to join two or more defendants in a single action.

NOTE: As is the case with joinder of plaintiffs, this rule does not confer subject matter jurisdiction on the federal court to hear a claim against a joined defendant. Thus, joinder may be defeated where the court lacks subject matter jurisdiction over the joined claim. *See* Point Three, below.

Point Three: Even though the federal court lacks diversity jurisdiction over Husband's and
(50-60%) Wife's claims against Motorist, it has "supplemental jurisdiction" over those claims.

Federal courts are tribunals with limited subject matter jurisdiction in civil cases. Basically, they may decide only "federal question" and "diversity" cases. The claims of Husband and Wife against Motorist do not involve a federal question; they are state tort law claims. Nor do their claims against Motorist qualify for diversity jurisdiction. First, diversity is determined on the date the suit is filed. Although Husband and Wife were citizens of a different state than Motorist on the day of the accident, they were all citizens of State X on the date that suit was filed. Second, their claims do not satisfy the amount in controversy requirement. Neither claim is for an amount in excess of \$75,000, so an effort to pursue their claims in a federal court under its diversity jurisdiction would fail.

However, a state cause of action may be heard in a federal court under supplemental jurisdiction (formerly termed "ancillary" or "pendent" jurisdiction). Where a party has both a federal question claim and a state law claim and both claims arise out of a common nucleus of operative fact, it has long been recognized that the federal court may, in the interest of the economical and

efficient administration of justice, decide both the federal and the state claims in a single action. *See United Mine Workers v. Gibbs*, 383 U.S. 715 (1966).

Subsection (a) of Section 1367 of the Judicial Code authorizes a federal court to exercise “supplemental jurisdiction” over any state law claim that has a nucleus of operative fact in common with a claim that is itself within the subject matter jurisdiction of the federal court. The statute not only codifies the “pendent claim” jurisdiction as formulated in the *Gibbs* case, but the final sentence of subsection (a) expands supplemental jurisdiction expressly to include “pendent party” jurisdiction. “Such supplemental jurisdiction,” the statute reads, “shall include claims that involve the joinder or intervention of additional parties.”

Accordingly, since the State X tort claims of Husband and Wife against Motorist arise out of the same occurrence as their federal question claims against the United States, the federal court in State X has supplemental jurisdiction over these State X claims. The claims against Motorist share a “common nucleus of operative fact” with the claims against the United States, and it is reasonable to expect them to be resolved in one action. Under such circumstances, the courts have routinely held that 21 U.S.C. ' 1367(a) confers supplemental jurisdiction over such claims. *See, e.g., Roche v. John Hancock Mut. Life Ins. Co.*, 81 F.3d 249 (1st Cir. 1996); *Spiegel v. City of Chicago*, 920 F. Supp. 891 (N.D.Ill. 1996) (supplemental jurisdiction appropriate when disparate tort claims arise from same basic occurrence). Thus, even though the state law claims, standing alone, would be outside the court’s subject matter jurisdiction, they may be joined to the case against the United States, over which the court has exclusive jurisdiction pursuant to the Federal Tort Claims Act, 28 U.S.C. ' 1346(b).

NOTE: The statute gives the court discretion to reject claims on prudential grounds, including when the pendent claims raise novel issues of state law, when they substantially predominate over the claims over which the federal court has original jurisdiction, when the claims over which the court had original jurisdiction have all been dismissed, or in other “exceptional circumstances.” However, none of these prudential reasons for denying supplemental jurisdiction is present on our facts.

SECURED TRANSACTIONS III.V; IV.B, K; V.B

Question 5 Analysis

- Legal Problems:
- (1) Did First Bank properly perfect its security interest in PC's equipment so that it has priority over a subsequent lien creditor?
 - (2) Does First Bank's financing statement claiming a security interest in PC's accounts receivable give it a claim to those accounts when the security agreement does not mention those accounts and the financing statement was filed without PC's authorization?
 - (3) Is First Bank liable for any damages PC sustained as a result of First Bank's filing of an overbroad financing statement and its subsequent refusal to terminate or amend the statement?

DISCUSSION

Summary: First Bank will prevail over Luke, the subsequent lien creditor, if First Bank had a prior, perfected security interest in the disputed equipment. First Bank had a prior, perfected interest in PC's equipment, but not in PC's accounts receivable. Thus, First Bank prevails as to the equipment, but not as to the accounts receivable. Luke prevails as to the accounts receivable. Moreover, because First Bank improperly filed a financing statement covering PC's accounts, First Bank is liable to PC for any damages caused by that improper filing.

Point One: (25-35%) Because PC had authenticated a security agreement granting First Bank a security interest in PC's equipment, First Bank perfected its security interest by filing, even though PC did not specifically authorize First Bank to file a financing statement. To that extent, First Bank had priority over Luke as to PC's equipment.

As between a lien creditor and a secured party, the secured party has the superior claim to a debtor's assets if the secured party has a perfected security interest that predates the judicial lien. In this case, First Bank obtained a security interest in PC's equipment, filed a financing statement covering the equipment, and advanced funds to PC on the strength of that arrangement. As a result, First Bank had a perfected security interest in PC's equipment. Moreover, these steps were taken before Luke acquired a lien against PC's assets. Consequently, First Bank has the superior claim to PC's equipment. Uniform Commercial Code (UCC) ' 9-201 (except as otherwise provided in the UCC, a security agreement is effective against other creditors of the debtor); ' 9-317(a)(2) (a lien creditor prevails over a secured party only if the lien creditor obtains an interest before security interest is perfected).

It makes no difference that PC did not sign or expressly authorize the filing of the financing statement. Under the old version of Article 9, financing statements were required to be signed by the debtor. Under new Article 9, the debtor's signature is not necessary. *See* UCC ' 9-502(a) and comment 3. Although filings must still be authorized by the debtor, *see* UCC ' 9-509(a), the debtor's authentication of a security agreement covering particular collateral is *ipso facto* an authorization for the secured party to file a financing statement covering that collateral. UCC ' 9-509(b)(1) and comment 4. Because PC authenticated a security agreement granting First Bank a security interest in equipment, First Bank was entitled to file a financing statement covering equipment, which was effective to perfect First Bank's interest.

Point Two: Luke has a superior claim to PC's accounts because First Bank had no security
(25-35%) interest in the accounts and the inclusion of the accounts in its financing statement
was unauthorized and ineffective.

First Bank has no security interest in PC's accounts. To obtain a security interest in a debtor's assets, a creditor must receive the debtor's agreement to grant such an interest. In general, no security interest will attach to collateral unless "the debtor has authenticated a security agreement that provides a description of the collateral." UCC ' 9-203(b)(3)(A). Here, First Bank has absolutely no claim to a security interest in PC's accounts because the PC-First Bank security agreement did not include accounts receivable in the description of collateral, but mentioned only equipment. There is nothing in the facts to suggest that there was any intention to include accounts. To the contrary, the facts suggest that the security interest was intentionally limited to equipment.

If no security interest has attached, it cannot be perfected no matter what the creditor does. *See* UCC ' 9-308(a). Here, no security interest ever attached to the accounts. Because First Bank has no security interest in the accounts and no other basis for claiming a property interest in the accounts, Luke's interest prevails.

The financing statement does not help First Bank in this regard because it is not a security agreement and, also, because it was overbroad. First Bank did not have the right to file a financing statement covering additional collateral unless PC authorized such a filing, which PC did not. A financing statement is effective "only to the extent that it was filed by a person that may file it." UCC ' 9-510. Because First Bank was not entitled to file a financing statement covering PC's accounts receivable, the financing statement is not effective to cover those accounts. *See* UCC ' 9-317(a)(2). Thus, Luke has a superior claim to the accounts receivable.

Point Three: First Bank violated Article 9 by filing an overbroad financing statement and
(25-35%) by refusing to correct that filing. As a result, it is liable to PC for any loss caused
by those violations, including losses caused by PC's inability to secure financing
from Second Bank.

Revised Article 9 provides generally that "a person is liable for damages in the amount of *any loss caused by a failure to comply with this article.*" UCC ' 9-625(b) (emphasis added). Damages

may be recovered by a person who is a debtor at the time of the failure of compliance with Article 9. UCC ' 9-625(c).

On our facts, First Bank filed an overbroad financing statement. The problem, as noted earlier, is that First Bank had no express authorization from the debtor to file the financing statement, and the authorization provided *ipso facto* by debtor's authentication of a security agreement extended *only* to the collateral mentioned in the security agreement, equipment. *See* UCC ' 9-509(a), (b). Hence, by filing an overbroad financing statement, First Bank violated its "duty to refrain from filing [an] unauthorized financing statement." UCC ' 9-625, cmt. 2. *See* UCC ' 9-509(a) (a secured party may file a financing statement *only* if authorized). Moreover, a secured party has a duty to terminate an unauthorized filing when termination is requested by the debtor. UCC ' 9-513(c)(4). First Bank also failed to comply with this duty.

First Bank is liable for any loss caused to PC by its breach of these duties. Recoverable losses include losses "resulting from the debtor's inability to obtain . . . alternative financing." UCC ' 9-625(b). In this case, those losses may be substantial. First Bank's overbroad financing statement made it impossible for PC to secure a loan from Second Bank. PC's inability to secure financing for its business expansion prevented it from adequately servicing its contracts. As a result, the City of Eden canceled its contract, which had been expected to yield significant revenue for PC. PC must, of course, establish both the amount of the loss and that the loss was caused by First Bank's failure to comply with the Code. Moreover, damages should be limited to an amount "reasonably calculated to put [PC] in the position that it would have occupied had no violation occurred." UCC ' 9-625, cmt. 3.

AGENCY & PARTNERSHIP II.A, II.B, VIII.A., IX.A, IX.B

Question 6 Analysis

- Legal Problems:
- (1) Does the statement “I don’t want to do this anymore. I am quitting this partnership,” made by one partner, dissolve an “at will” partnership?
 - (2) May a partner bind a partnership to a contract made after dissolution?
 - (3) What is a partner’s liability for partnership obligations?

DISCUSSION

Summary: The effect of Randy’s “quitting” is to dissolve the partnership and to put it in a “winding up” period, at the conclusion of which it terminates. As the partnership had already dissolved, Sandy lacked actual authority to enter into the contract with Barney on behalf of the partnership. All the same, the partnership is bound by the contract with Barney because Sandy still had apparent authority to bind the partnership. Because they did not agree otherwise, Randy and Sandy share losses equally. Because Sandy paid the trade creditors, she is entitled to a \$15,000 contribution from Randy.

Point One: (35-40%) Randy’s statement “I don’t want to do this anymore. I am quitting this partnership,” dissolves the “at will” partnership. This begins a period of winding up (liquidation) during which time the partnership affairs are settled. Once winding up is complete, the partnership terminates.

The facts do not indicate that the partnership had a definite term or limited undertaking. Therefore, this was an “at will” partnership. Any partner may dissolve an “at will” partnership by his or her express will.

Under the Uniform Partnership Act (UPA), dissolution occurs when the parties cease to associate in carrying on the business together. *See* UPA ' 29 (“The dissolution of a partnership is the change in the relation of the partners caused by any partner ceasing to be associated in the carrying on as distinguished from the winding up of the business.”). “On dissolution the partnership is not terminated but continues until the winding up of partnership affairs is completed.” UPA ' 30. Winding up is “the process of settling partnership affairs after dissolution.” Official Comment to ' 29. Once all partnership affairs have been settled, the partnership terminates.

When Randy told Sandy “I don’t want to do this anymore. I am quitting this partnership,” Randy dissolved the partnership. The partnership must now undergo a period of winding up (i.e., completing the remaining business and settling debts). Once this is done, the partnership is terminated.

Under the Revised Uniform Partnership Act (RUPA), Randy’s statement is an event of dissociation. Sandy has “notice of the partner’s express will to withdraw as a partner.” RUPA ‘ 601(1). Therefore, under RUPA ‘ 801(1) Randy’s statement dissolves the partnership and the business must be wound up. Pursuant to RUPA ‘ 802, “a partnership continues after dissolution only for the purpose of winding up its business. The partnership is terminated when the winding up of its business is completed.”

Point Two: The partnership is probably bound by Sandy’s contract with Barney, even
(35-40%) though it occurred after dissolution, because Sandy had apparent authority to enter
 into the contract.

Under the UPA, upon dissolution, a partner’s actual authority to bind the partnership terminates except as is necessary to wind up the business. *See* UPA ‘ 33. The contract with Barney was for new business. When Randy dissolved the partnership (*see* Point One, above), Sandy’s actual authority to enter into a contract for new business ended.

Under the RUPA, upon dissolution, a “partnership is bound by a partner’s act after dissolution that . . . is appropriate for winding up the partnership business.” RUPA ‘ 804. As indicated above, the contract with Barney was for new business. There is an exception under RUPA ‘ 803(c) that permits a partner who has not wrongfully dissociated to preserve the partnership business as a going concern for a reasonable period of time. These facts do not come within this exception. To date, the business has existed for only a year and it only had short-term contracts remaining. The contract with Barney was a long-term contract (three years).

While Sandy lacked actual authority to contract with Barney, under both the UPA and the RUPA, Sandy likely had apparent authority to bind the partnership after dissolution, so long as Barney was not aware of the dissolution and reasonably believed that Sandy was authorized to act. *See* UPA ‘ 35(1) (“After dissolution a partner can bind the partnership . . . by any transaction which would bind the partnership if dissolution had not taken place, provided the other party to the transaction . . . though he had not so extended credit, had nevertheless known of the partnership prior to dissolution, and had no knowledge or notice of dissolution . . .”); RUPA ‘ 804(2) (“a partnership is bound by a partner’s act after dissolution that . . . (2) would have bound the partnership under ‘ 301 before dissolution, if the other party to the transaction did not have notice of the dissolution”). RUPA ‘ 301(1) provides a partner with apparent authority to carry on in the ordinary course the partnership’s business unless the other party to the transaction knows that there is no authority.

The facts support the conclusion that Sandy had apparent authority to enter into the contract. Even though Barney had not previously done business with the partnership, the facts state that he was familiar with the partnership. Sandy, on behalf of the partnership, had been soliciting a long-

term contract from him for over a month. Sandy was acting in the ordinary course of the partnership's business when soliciting a contract for widgets. Further, Barney was not aware of the dissolution. Therefore, the partnership is probably bound by Sandy's contract with Barney.

Point Three: Because there is no agreement to the contrary, when Sandy paid \$30,000 to the
(15-25%) trade creditors, Sandy became entitled to a contribution of \$15,000 from Randy.

When Sandy paid the entire \$30,000 debt to the trade creditors, she became entitled to contribution of \$15,000 from Randy. Among partners, unless the parties agree otherwise, profits are shared equally and losses are shared in the same ratio as profits. *See* UPA ' 18(a) ("Each partner shall . . . share equally in the profits . . . and must contribute towards the losses . . . according to his share in the profits."); RUPA ' 401(b) ("Each partner is entitled to an equal share of the partnership profits and is chargeable with a share of the partnership losses in proportion to the partner's share of the profits."). Regardless of the fact that Randy contributed twice as much capital (\$10,000) as Sandy (\$5,000) to the partnership, the facts indicate that they shared profits equally. Because they did not agree otherwise, Randy and Sandy would share losses in the same ratio as they shared profits.

TRUSTS & FUTURE INTERESTS I.I, II.F

Question 7 Analysis

- Legal Problems:
- (1) Does the bequest under Testator's will violate the Rule Against Perpetuities?
 - (2) Did Friend improperly delegate her duties to Bank?
 - (3) Did Bank, acting as agent of Friend, improperly invest the trust assets by failing to diversify the trust investments such that Friend, as trustee, is liable for any losses resulting from such failure?

DISCUSSION

Summary: The bequest to great-grandchildren under Testator's will is invalid under the common-law Rule Against Perpetuities but valid under the wait-and-see doctrine because it actually vested before the perpetuity period had expired. Friend, as trustee of the revocable trust, breached the duty not to delegate and the duty to diversify trust investments and is liable for the resulting losses.

Point One: (20-30%) The bequest under Testator's will would be void under the common-law Rule Against Perpetuities. However, the bequest is valid under the governing wait-and-see doctrine because it vested two months after Testator's death. Thus, the estate passes to Testator's great-grandchildren who are alive when the will is probated.

Under the common-law Rule Against Perpetuities, "no interest is good unless it must vest, if at all, no later than twenty-one years after some life in being at the creation of the interest." John C. Gray, RULE AGAINST PERPETUITIES ' 201 (4th ed. 1942). Furthermore, under the common-law rule, if there was any possibility, however improbable, that an interest might vest too remotely, that interest would be invalid even though in fact it actually vested in a timely manner.

For testamentary bequests, as here, the nonvested interest is deemed created at Testator's death. Thus, the testamentary gift to great-grandchildren is void if there is any possibility it could become possessory more than 21 years after the death of any of Testator's issue who survived him, a possibility that could occur here. For example, within one year after Testator died all of his issue who survived him except the 27-year-old grandchild could die. While that is improbable, it is certainly possible. Then the 27-year-old grandchild who survived Testator could have a child who would be a great-grandchild of Testator. And, then the 27-year-old grandchild could die. At this point, all of Testator's issue who survived him are dead, leaving only the later born great-grandchild. Then, 22 years later (more than 21 years after the death of all relevant lives) Testator's will could be probated. This would result (but for the Rule) in the gift vesting in

Testator's great-grandchildren living when his will was probated. However, since this vesting occurs, as hypothesized, beyond the permissible period, the gift is invalid. It bears repeating that a nonvested interest is invalid if it might have vested too remotely even if, in fact, as here, that did not occur because Testator's will was probated two months after Testator died.

An invalid residuary gift is stricken from the will, and absent an alternative valid gift, the residue passes to the Testator's heirs, here Angela and Brian, his only two children.

This jurisdiction, however, has enacted the wait-and-see rule. Under the wait-and-see rule, the gift to the great-grandchildren is valid if it *in fact* vests within the perpetuity period. Here the will was probated two months after Testator died. Thus, the gift to the great-grandchildren vests in a timely manner. *See generally Merchants National Bank v. Curtis*, 97 A.2d 207 (N.H. 1953).

Point Two: (35-45%) A trustee is responsible for administering the trust. Accordingly, at common law it is a breach of trust to delegate to a third party significant and discretionary duties, such as the duties to make distributions and investments. Under one or more Uniform Acts, however, at least the trustee's investment duty is delegable to a third party, although a breach of trust for that delegation could nonetheless occur for failing to properly supervise the third party.

The selection by the settlor of a trust of another person to act as a trustee evidences the settlor's trust and confidence in the designated trustee to properly administer the trust, including deciding what, if any, discretionary distributions of trust property should be made to beneficiaries, and how trust assets should be invested. Flowing from this confidence is the duty to exercise due care and the duty not to delegate those duties that the trustee can reasonably be expected to perform. *See* RESTATEMENT (SECOND) OF TRUSTS ' 171.

According to the Restatement, a trustee cannot "delegate to another power to select investments." RESTATEMENT (SECOND) OF TRUSTS, ' 171, cmt. h. According to Scott, "if . . . [the trustee] entrusts funds to the agent for this purpose and through the . . . negligence of the agent the funds are lost, the trustee is personally liable." SCOTT'S ABRIDGEMENT OF THE LAW OF TRUSTS ' 171.2 (1960).

Similarly, Friend, as trustee, cannot delegate such an important function as determining how the trust property shall be distributed among the named beneficiaries, because this is an act that, in light of all the circumstances, it would appear Testator expected Friend to perform. Thus, Friend's discretionary power, as trustee, to distribute trust principal to the income beneficiaries cannot be delegated to Bank. *See generally* RESTATEMENT (SECOND) OF TRUSTS ' 171, cmt. d.

Under the Uniform Trust Code, however, a trustee can delegate such duties that "a prudent trustee of comparable skills could properly delegate under the circumstances." Unif. Trust Code ' 807. *Accord* RESTATEMENT (THIRD) OF TRUSTS ' 171 (1992). Likewise, under ' 9 of the Uniform Prudent Investor Act and ' 3(2) of the Uniform Trustee's Powers Act, a trustee is given broad authority to delegate trust duties, effectively abrogating the common-law and Second Restatement nondelegation rule, at least where a delegation would be deemed prudent under the

circumstances. Nonetheless, it is highly unlikely that a prudent trustee who was a longtime friend of Testator's family and who presumably best knew how to make discretionary distributions among Testator's issue would delegate that function to a corporate agent that had no familiarity with Testator's family.

On the other hand, the Uniform Trust Code and Uniform Prudent Investor Act clearly contemplate the complete delegation of the trustee's investment responsibilities so long as the trustee exercises reasonable care, skill, and caution in selecting the agent and "periodically . . . [reviews] the agent's actions in order to monitor the agent's performance and compliance with the terms of the delegation." Unif. Trust Code '807(a)(3). *Accord* RESTATEMENT (THIRD) OF TRUSTS ' 171 (1992). Here, there may have been a proper delegation but there is also lack of supervision, which brings Friend outside of the protection of the Third Restatement's black letter rule. *See also* Point Three.

Point Three: Friend probably acted imprudently with respect to the trust investments by (35-45%) failing in her oversight responsibilities to require that the trust investments be diversified.

"A trustee shall diversify the investments of the trust unless the trustee reasonably determines that, because of special circumstances, the purposes of the trust are better served without diversifying." Unif. Prudent Investor Act ' 3. *Accord* RESTATEMENT (SECOND) OF TRUSTS ' 228. This rule reflects the time-honored principle that it is inappropriate to put all of your eggs into one basket. While in a limited number of instances diversification may not be necessary, none of them appear relevant here.

The rationale for diversification is clear. "Diversification reduces risk . . . [because] stock price movements are not uniform. They are imperfectly correlated. This means that if one holds a well-diversified portfolio, the gains in one investment will cancel out the losses in another." Jonathan R. Macey, AN INTRODUCTION TO MODERN FINANCIAL THEORY 20 (American College of Trust and Estate Counsel Foundation, 1991).

Even though it was Bank that failed to diversify, Friend, as trustee, is liable for this failure because (1) Bank was Friend's agent and (2) Friend, as trustee, had a duty to oversee the acts of the agent, including the duty to assure that investments were made in a prudent manner. *See* Unif. Prudent Investor Act ' 9(a)(3) (trustee must exercise care, skill and caution in "periodically reviewing the agent's actions in order to monitor the agent's performance and compliance with the terms of the delegation"). Friend can be liable for the failure to diversify even though Friend committed no breach of trust by initially delegating her investment duties to Bank.

July 2004
Questions

Question 1

Five years ago, Settlor created an irrevocable trust (the “Settlor Trust”). The trust provided that Trustee should pay annually “all of the trust income to my son Zack for life, with Zack to use such income to send Zack’s children to college.” The trust instrument further provided that, upon Zack’s death, Trustee should “distribute the trust corpus in equal shares to Zack’s children, issue of any deceased child to take his or her parent’s share.”

When Settlor Trust was created, Zack was married to Spouse. Zack and Spouse had three living children, Abel, age 23; Brian, age 19; and Carrie, age 15. Abel had one living child, Grandchild. Neither Brian, a college student, nor Carrie, a high-school student, was married or had children.

Two years later, Zack and Spouse had another child, Debbie. Following Debbie’s birth, Zack stopped paying Brian’s college expenses and told Carrie that he would not pay her future college expenses.

Trustee distributed last year’s trust income to Zack. Shortly thereafter, Abel, Carrie, and Zack were all killed in an automobile accident. None of them had a will. Zack had not spent any of last year’s income distribution. Zack was survived by Spouse, Brian, Debbie, and Grandchild.

Under state law, Abel and Carrie are deemed to have predeceased Zack. State law also provides that an intestate’s estate passes to the intestate’s spouse and children in equal shares or, if there is no surviving spouse or children, to the intestate’s parents in equal shares or, if there is no surviving parent, to the intestate’s siblings.

1. Can Brian impress a trust upon the income distributed to Zack from Settlor Trust to pay for Brian’s college education? Explain.
2. To whom, and in what shares, should the principal of Settlor Trust be distributed? Explain.

Question 2

Zeta, Inc., is a corporation with 80,000 shares outstanding. Its articles of incorporation provide for a nine-person board of directors, with staggered three-year terms. Three directors are elected each year. Zeta's articles require cumulative voting. Therefore, when electing the three directors, each share is entitled to three votes, meaning that there are 240,000 votes eligible to be cast. Accordingly, a person who receives at least 60,001 votes would be elected a director. Neither the articles nor Zeta's bylaws contain any other provisions concerning elections, voting, or removal of directors.

Diane is one of Zeta's directors. Although Diane's term does not expire for another two years, at the request of a group of shareholders, Zeta has scheduled a special shareholders' meeting on September 1 to consider removing Diane from office. Proper notice of that meeting has been given to all of Zeta's shareholders.

Sam owns 16,000 of the 80,000 outstanding Zeta shares. On August 1, Sam gave Arnie a proxy to vote Sam's shares at the special meeting. The proxy signed by Sam stated that it was "irrevocable."

On August 15, Betty, another Zeta shareholder, convinced Sam that giving a proxy to Arnie was a mistake. Sam then signed another proxy, dated August 15, which revoked the proxy to Arnie and gave Betty the right to vote Sam's 16,000 shares.

At the special shareholders' meeting on September 1, the shareholders in favor of Diane's removal argued that Diane was too critical of the company's management at board meetings and was "rocking the boat." No one alleged any breach of duty or other wrongdoing by Diane. Both Arnie and Betty attempted to vote Sam's shares by proxy. Counting Arnie's vote of Sam's shares, the result was 117,000 votes to remove Diane and 123,000 votes not to remove her. Counting Betty's vote of Sam's shares, the result was 165,000 votes to remove Diane and 75,000 votes not to remove her.

Zeta's corporate secretary ruled that Diane was not removed as a director because: (1) no valid cause was shown for removing Diane and showing cause was required to remove her; (2) Arnie was entitled to vote Sam's shares and removal therefore failed by a vote of 117,000 votes to remove Diane and 123,000 votes not to remove her; and (3) even if Betty had the right to vote Sam's shares, the resulting vote of 165,000 votes to remove Diane and 75,000 votes not to remove her was insufficient to remove Diane.

Was each of these three rulings correct? Explain.

Question 3

Husband and Wife were married for 12 years. The couple had one child, Boy, age 7. Husband and Wife were both devoted parents.

Wife filed for divorce shortly after she learned that Husband and Secretary were having an affair. In the divorce action, Husband and Wife each sought sole custody of Boy.

The court appointed a child custody evaluator. Both parents told the evaluator they were not willing or able to share custody. Boy told the evaluator that he was very upset because his parents were getting a divorce and that he wanted to live with his father. Based upon the child custody evaluator's recommendation, the court awarded Husband sole custody of Boy and gave Wife liberal visitation rights. Neither party appealed this decree. Husband's and Wife's relationship has remained bitter and hostile.

Three months after the custody decree was filed, Secretary moved into Husband's house. Immediately thereafter, Wife filed a petition seeking to modify the custody decree and obtain sole custody of Boy.

At a hearing on Wife's petition, Boy testified, "I miss my mom and I am sad that my parents are divorced." Husband testified that there had been no change in Boy's behavior since Secretary moved into his home and that Boy got along well with Secretary. Wife testified that Boy should not be exposed to his father's nonmarital cohabitation. There was no other testimony. Neither Husband nor Wife sought joint custody.

The court modified the custody decree and awarded Husband and Wife joint custody. Under the modified decree, Boy will reside with each parent for alternating two-week periods and the parents will share decision-making responsibilities. The court held that "this arrangement will give Boy the best of both parents and allow each parent to counteract any negative influence on Boy by the other parent."

Husband appeals the court's determination.

1. Did the court err in modifying the custody decree? Explain.
2. Did the court err in awarding joint custody? Explain.

Question 4

Decedent and his only child, Clara, died as the result of an accident when Clara's car was struck from the rear by a truck. Clara was driving and Decedent was riding in the back seat directly behind her. The emergency medical team that arrived at the accident scene found no evidence that either of them was alive. The emergency room physician examined their bodies as they were being removed from the ambulance. She first pronounced Decedent dead and then pronounced Clara dead.

Clara was survived by her spouse, Son-in-Law, who was named as the sole beneficiary of her estate under her duly probated will. Clara had no descendants.

Decedent died intestate leaving an estate of approximately \$300,000. Decedent left no surviving spouse. Decedent's parents had predeceased him by many years. Decedent's closest surviving relatives are:

1. a brother, Brother;
2. a half-sister, Half-Sister, who is related to Decedent through a common mother;
3. an adopted sister, Adopted-Sister, who was adopted by Decedent's parents; and
4. his paternal grandfather, Gramps.

Three years before Decedent died, he gave Brother a check for \$90,000 to enable Brother to buy a new home.

Among Son-in-Law, Brother, Half-Sister, Adopted-Sister, and Gramps, who will share in Decedent's estate, and what is the value of the share each will receive? Explain.

Question 5

Best Care Hospital, one of five hospitals in City, operates the largest emergency room in City. Best Care advertises extensively about the quality of care provided in its emergency room. It has billboards strategically placed throughout City urging local citizens to come to Best Care “because Best Care’s emergency room doctors are the absolute *best* and will really *care* for you.” In fact, Best Care employs no doctors; instead it contracts with seven doctors in City to staff the emergency room on a 7-day, 24-hour basis. These contracts provide:

1. Each doctor is an “independent contractor,” not an “agent/employee,” and may conduct a private practice but may not work in any other emergency room;
2. Each doctor is responsible for the manner in which he or she provides medical care and for the purchase of malpractice insurance;
3. Each doctor is authorized to purchase supplies and equipment for Best Care’s emergency room from a list of approved vendors located in City and within Best Care’s price guidelines;
4. Each doctor is periodically reviewed by Best Care’s governing board to assure that each doctor provides quality care;
5. Each doctor independently bills patients for services provided; and
6. All emergency services are performed in the Best Care emergency room using supplies and equipment provided by Best Care.

Three months ago, Owen, a local orthopedist and one of the doctors with whom Best Care contracts, ordered a portable X-ray machine costing \$25,000 from Vision, a company located in a town 450 miles from City. Vision is not on Best Care’s approved vendor list and Owen did not consult with anyone at Best Care before he placed the order. When Owen ordered the machine, which was to be custom-designed for Best Care, he truthfully told Vision that he was one of the seven emergency room doctors at Best Care and needed the machine for the emergency room. Owen also stated that he was acting on behalf of Best Care. Vision had had no previous dealings with Owen or Best Care and agreed to make the machine according to the custom specifications provided by Owen. When Vision shipped the X-ray machine, Best Care refused to accept delivery, even though the price for the machine was within its price guidelines. Best Care claimed that Owen had no authority to purchase the machine on its behalf. Vision filed an action for breach of contract against Best Care.

Last month, Anita was hit by a bus. When the ambulance arrived, Anita asked the ambulance driver to take her to Best Care, quoting the billboard claim that “Best Care’s emergency room doctors are the absolute *best*.” When Anita arrived at the emergency room, she was treated by Owen. Owen correctly told Anita that she needed immediate surgery. During the operation, Owen negligently severed one of Anita’s arteries, and she bled to death. Anita’s estate has filed a wrongful death action against Owen and Best Care for damages resulting from Owen’s negligence.

Question 5 (continued)

1. Is Owen an independent contractor or servant (employee) of Best Care? Explain.
2. Is Best Care liable to Vision for breach of contract? Explain.
3. Assuming Owen is an independent contractor, is Best Care liable to Anita's estate for Owen's negligence? Explain.

Question 6

Plaintiff, a domiciliary of State X, was severely injured in a car accident in State X. Tortfeasor, the uninsured owner and driver of the other vehicle involved in the accident, was also a citizen of State X. Before any litigation regarding the accident began, Tortfeasor died of a heart attack.

Following Tortfeasor's death, Plaintiff commenced an action against Executor, the legal representative of Tortfeasor's estate. Executor is a citizen of State Y. Plaintiff sued Executor in the federal district court of State Y. The complaint, which alleged that Tortfeasor's negligence caused the accident and Plaintiff's injuries, sought damages in excess of \$500,000.

Executor answered the complaint, denying the allegations of negligence but admitting the court's subject matter jurisdiction. A year later, however, after extensive discovery, Executor moved to dismiss the complaint for lack of subject matter jurisdiction. After the submission of briefs and oral argument on the jurisdictional issue, the federal court denied Executor's motion to dismiss, ruling that "jurisdiction exists and, in any event, the motion was untimely." A trial was held and the jury rendered a verdict in Plaintiff's favor for \$80,000.

The federal court entered judgment on the verdict. No appeal was taken.

When Executor declined to pay the judgment, Plaintiff commenced suit in a state court in State X to enforce the federal judgment. In the state suit, Executor challenged the validity of the judgment, claiming that the federal district court of State Y lacked subject matter jurisdiction.

1. Did the federal district court of State Y err in denying Executor's motion to dismiss for lack of subject matter jurisdiction? Explain.
2. Should the state court in State X enforce the federal judgment? Explain.

Question 7

Seller is in the business of selling new and used road construction equipment. On January 15, Buyer, a road builder, entered into a written purchase agreement with Seller for the sale of a used excavator for \$100,000. The purchase agreement provided that Seller would add certain attachments to the excavator. The cost of the attachments was included in the purchase price. Buyer and Seller agreed that the specially equipped excavator would be ready for Buyer by April 5, in time for the start of the road construction season.

When Buyer signed the contract, Buyer gave Seller a \$25,000 down payment. The remaining \$75,000 was to be paid as follows: \$25,000 on March 1; \$25,000 on April 1; and \$25,000 on May 1.

On January 20, Seller borrowed \$1 million from Finance Co. to finance Seller's business operations. Finance Co. obtained a properly perfected security interest specifically assigning to Finance Co. all payments from Seller's accounts receivable and chattel paper.

On February 20, Seller failed to make a payment due on its loan from Finance Co. Finance Co. declared Seller in default. However, it informed Seller that it would not require immediate repayment of the full amount of the loan, but would instead begin collecting payments on all of Seller's outstanding accounts and chattel paper directly from the account debtors.

Finance Co. properly notified Buyer that Seller had assigned to Finance Co. the right to receive payment under the purchase agreement and that Buyer should make all future payments on the purchase agreement directly to Finance Co. However, Seller told Buyer to disregard Finance Co.'s notification and to continue to make payments directly to Seller. Buyer then sent its March and April payments directly to Seller.

On April 5, Buyer went to pick up the excavator from Seller. Buyer discovered that Seller had not equipped the excavator with any of the attachments required by their purchase agreement. Buyer informed Seller that it would take the excavator, despite its non-conformity with the contract, but that it would find and add the necessary attachments itself and would withhold from its final payment the cost of making the goods conform to the contract. Seller stated that it expected full payment but allowed Buyer to take the excavator.

On May 5, Finance Co. demanded that Buyer immediately pay Finance Co. \$75,000, the full amount of the March, April, and May payments under the purchase agreement. Buyer refused, asserting that it made the March and April payments to Seller and that no remaining payment was due because the cost of bringing the excavator up to contract specifications exceeded \$30,000, substantially more than the amount of the May payment.

How much, if anything, does Buyer owe Finance Co.? Explain.

July 2004
Analyses

TRUSTS I.B; II.C; III.B

Question 1 Analysis

- Legal Problems:
- (1) Did the language in Settlor Trust specifying that Zack “use . . . income to send Zack’s children to college” create a trust in favor of Zack’s children?
 - (2) Is Debbie, a child born to Zack after the creation of Settlor Trust, included in the class gift in favor of Zack’s children?
 - (3) Does the share of Settlor Trust that Abel would have taken had Abel survived Zack pass to Abel’s children or to the surviving members of the class?
 - (4) Does the share of Settlor Trust that Carrie would have taken had Carrie survived Zack pass to Carrie’s heirs or to the surviving members of the class?

DISCUSSION

Summary: If Settlor imposed a trust upon Zack to use trust income to send Zack’s children to college, Brian can impress a trust upon the funds distributed to Zack from Settlor Trust. There is a strong, but not conclusive, argument that Settlor did intend to impose a trust upon Zack. Upon Zack’s death, the trust corpus passed to Brian, Spouse, Debbie, and Grandchild. The trust created a vested remainder in a class of persons (Zack’s children) and that class remained opened until Zack’s death. Thus Debbie is included in the class. Class members’ interests were divested only if they failed to survive Zack and had issue who did survive him. Thus, Abel’s share was divested in favor of his issue (Grandchild). Carrie’s share was not divested and passes to her heir, Spouse, except in a state that has adopted § 2-707 of the 1990 Uniform Probate Code (UPC), or a like provision.

Point One: (30-40%) The language of Settlor Trust probably creates a trust for the benefit of Zack’s children in the income of the trust. Thus, Brian can impress a trust upon the income distributed to Zack from Settlor Trust. It can be argued, however, that the college expenses condition was precatory.

Settlor Trust provided that trust income be distributed to Settlor’s son Zack, with Zack “to use such income to send Zack’s children to college.” The question is whether this language merely expressed Settlor’s desire or imposed on Zack a binding obligation in trust. The answer depends

on Settlor's intent: a trust is created "only if the settlor properly manifests an intention to create a trust relationship." RESTATEMENT (THIRD) OF TRUSTS § 13.

In order to determine a settlor's intent, the courts consider:

(1) the specific terms and overall tenor of the words used; (2) the definiteness or indefiniteness of the property involved; (3) the ease or difficulty of ascertaining possible trust purposes and terms, and the specificity or vagueness of the possible beneficiaries and their interests; (4) the interests or motives and the nature and degree of concerns that may reasonably be supposed to have influenced the transferor; (5) the financial situation, dependencies, and expectations of the parties; (6) the transferor's prior conduct, statements, and relationships with respect to possible trust beneficiaries; (7) the personal and any fiduciary relationships between the transferor and the transferee; (8) other dispositions the transferor is making or has made of his or her wealth; and (9) whether the result of construing the disposition as involving a trust or not would be such as a person in the situation of the transferor would be likely to desire. *Id.*

In cases where courts find "precatory language" not evidencing a trust, the settlor has typically used words such as "like," "request," "hope," or "wish" when stating what should be done with the funds. Settlor Trust did not contain such precatory language; instead, it specified that Zack was to use trust income for college expenses. The beneficiaries, purpose, and funds to be used can all be easily identified from the trust instrument. Thus, there is a strong argument that a trust was imposed upon Zack to use trust income for his children's college expenses. If a trust was imposed on Zack, then Brian can impose a trust on the income distributed to Zack before Zack died. It can also be argued that in light of the language in Settlor Trust, Brian could impose a constructive trust on the income distributed to Zack; otherwise Zack would be unjustly enriched.

The question could be argued the other way. Settlor was vague as to the amount to be spent on college, the period for which college expenses were to be paid, etc. Furthermore, Zack was to receive all of the income for life, including the period after which he had no children in college. This might be evidence that the direction to use the income for the children's college education was precatory.

Point Two: Debbie was born before the class gift to Zack's children closed and thus is a
(20-30%) member of the class entitled to share in the trust corpus.

Settlor created a class gift in the corpus of Settlor Trust with such gift to become possessory upon Zack's death. A class remains open and may admit new members until at least one class member is entitled to obtain possession of the gift. Because Settlor's class gift did not become possessory until Zack's death, Debbie is a member of the class and entitled to take a share of the corpus. *See generally* Cornelius J. Moynihan & Sheldon F. Kurtz, INTRODUCTION TO THE LAW OF REAL PROPERTY 156 (3d ed. 2002). Debbie's share of the corpus is one-quarter for the reasons described in Points Three and Four.

Point Three: Abel's share of the trust corpus passes to Grandchild as provided by the terms
(20-30%) of Settlor Trust.

Settlor Trust expressly provided that the "issue of any deceased child . . . take his or her parent's share." This language in a trust instrument is typically interpreted to mean that, when the life tenant is predeceased by a child who otherwise would have shared in the remainder and that child has issue who survive the life tenant, the deceased child's issue are to take the share that the deceased child would have taken had he survived the life tenant. *See, e.g., In re Estate of Houston*, 201 A.2d 592 (Pa. 1964). This interpretation seems consistent with Settlor's intent and would result in Grandchild taking Abel's share.

UPC § 2-707 (1990) and similar statutes achieve the same result by different means. Under the 1990 UPC, all future interests in trust, whether or not the gift explicitly requires survival to take, are treated as if they require survival; Abel's interest is thus contingent on Abel's surviving Zack. However, if, as here, the governing instrument creates an alternative gift, then the takers of the alternative gift (the issue of Abel) succeed to that interest despite the implied survival condition. UPC § 2-707(b)(4) (1990).

Point Four: Under the common law, Carrie's interest was vested. Her interest was not
(20-30%) divested when she died before Zack because she had no issue who survived Zack.
 Since Carrie died intestate, her share passed to her mother, Spouse, who is her
 sole heir. Under the 1990 Uniform Probate Code, Carrie's interest would fail and
 go to Brian, Debbie, and Grandchild, the surviving members of the class.

Under the common law, a remainder interest to children that was not expressly conditioned on survival was not impliedly conditioned on survival. Here, the remainder to children was subject to a survival contingency, but that contingency applied only when the deceased child had issue who survived the life tenant. (*See Point Three.*) Thus in contrast to Abel's interest, Carrie's interest was not divested because the divesting condition was not applicable as to her. *See In re Estate of Houston*, 201 A.2d at 599. As Carrie died intestate, her one-quarter interest would pass to Spouse.

UPC § 2-707 (1990) and like statutes produce a different result. Under the 1990 UPC, Carrie's interest is impliedly conditioned on her being alive when Zack's estate terminated. Because she was not alive, her interest failed. And since she had no surviving issue, there is no alternative gift. Accordingly, the share to which Carrie would have been entitled had she survived Zack goes to Brian, Debbie, and Grandchild, in equal shares.

CORPORATIONS V.A.2

Question 2 Analysis

- Legal Problems:
- (1) Must shareholders show cause to remove a director?
 - (2) May a shareholder revoke a proxy that states it is irrevocable by issuing a subsequent proxy?
 - (3) What vote is required to remove a director when cumulative voting is authorized by the corporation?

DISCUSSION

Summary: Zeta's shareholders may remove Diane without cause so long as they get the appropriate vote. Under cumulative voting, at least 60,001 votes would be sufficient to elect Diane as a director. Diane cannot be removed if the votes cast against removal would be sufficient to elect her as a director at an annual meeting to elect directors. Under either vote, there were sufficient votes cast against removing Diane and thus, she should not be removed.

Sam's proxy to Arnie was revoked when he issued a subsequent proxy to Betty. Even though the proxy stated it was irrevocable, words alone are not sufficient to create an irrevocable proxy. A proxy is only irrevocable if coupled with an interest, and there are no facts to indicate that this proxy was coupled with an interest.

Point One: Shareholders need not show cause to remove a director.
(35-45%)

Under the common law, shareholders had the inherent power to remove a director, but only for cause. *See Frank v. Anthony*, 107 So. 2d 136 (Fla. Ct. App. 1958); *Toledo Traction, Light & Power Co. v. Smith*, 205 F. 643 (N.D. Ohio 1913). Cause is defined as substantial grounds, such as directorial breach of duty or malfeasance in office. *See Eckhaus v. Ma*, 635 F. Supp. 873 (S.D.N.Y. 1986); *Doolittle v. Morley*, 292 P.2d 476 (Idaho 1956). "Rocking the boat" and being critical of management, as alleged here, do not constitute cause for removal.

However, most modern statutes, including the Revised Model Business Corporation Act (RMBCA), permit shareholders to remove a director without cause. *See* RMBCA § 8.08(a) ("The shareholders may remove one or more directors with or without cause unless the articles of incorporation provide that directors may be removed only for cause"); *Mitchell v. Concerned*

Citizens of CVEC, Inc., 486 So. 2d 1283 (Ala.1986). As Zeta's articles of incorporation contain no special provisions concerning removal of directors, the shareholders may remove Diane without showing cause. Therefore, the first ruling was incorrect.

Point Two: By issuing a subsequent proxy to Betty, Sam revoked the proxy he issued to (35-45%) Arnie, even though the proxy stated it was irrevocable.

Under the common law and state corporation statutes, a proxy is revocable unless it expressly provides that it is irrevocable and the appointment of the proxy is "coupled with an interest." See RMBCA § 7.22(d); *Stein v. Capital Outdoor Advertising, Inc.*, 159 S.E.2d 351 (N.C. 1968); *In re Chilson*, 168 A. 82 (Del. Ch. 1933). Thus, unless it was coupled with an interest, Sam could revoke the proxy he gave Arnie even though the proxy states it is irrevocable.

The concept of "coupled with an interest" is not completely clear, but, in general, the proxy holder must have "either (1) a charge, lien, or some property right in the shares themselves; or (2) a security interest given to protect the proxy holder for money advanced or obligations incurred." James D. Cox et al., *CORPORATIONS* 332 (1997). The RMBCA specifies various categories of people who qualify: (1) a pledgee; (2) a person who purchased or agreed to purchase the shares; (3) a creditor of the corporation who extended it credit under terms requiring the appointment; (4) an employee of the corporation whose employment contract requires the appointment; or (5) a party to a voting agreement created under RMBCA § 7.31.

Sam's proxy to Arnie was not coupled with an interest. The facts indicate only that Arnie was Sam's friend. Because the proxy to Arnie was not coupled with an interest, it was revocable in spite of the language to the contrary.

Where two or more revocable proxies have been given, the last given revokes all previous proxies. *FLETCHERS CYCLOPEDIA OF PRIVATE CORPORATIONS* § 2026. When Sam gave Betty a proxy on August 15, he revoked the proxy he had given to Arnie on August 1. Therefore, the second ruling was incorrect. Betty was entitled to vote Sam's shares.

Point Three: Under cumulative voting, a director is not removed if the number of votes cast (10-20%) against removal would be sufficient to elect the director at an annual meeting. Here, the number of votes cast against Diane's removal would have been sufficient to assure her election. Diane would not be removed under either vote.

In a corporation with straight voting, a shareholder vote removes a director if the number of votes for removal exceeds the number of votes against removal. RMBCA § 8.08(c). However, this corporation's articles require cumulative voting. "If cumulative voting is authorized, a director may *not* be removed if the number of votes sufficient to elect him under cumulative voting is voted against his removal." RMBCA § 8.08(c)(emphasis added). See Ark. Stat. Ann. § 4-27-808; Miss. Code Ann. § 79-4-8.08; Utah Code Ann. § 16-10a-808(3). Diane could have been elected a director with 60,001 votes, and more votes than that were voted against her

removal (123,000 or 75,000, depending on how the proxies were counted). Therefore, the third ruling was correct. Diane could not have been removed.

NOTE: Directors are elected by a plurality of the votes cast, so the directors with the greatest number of votes are elected. According to Zeta's articles, the nine directors have staggered terms, and three directors are elected at each annual meeting. Therefore, under cumulative voting, each share is entitled to three votes (number of shares x number of directors up for election). *See* RMBCA § 7.28(c).

As stated in the facts, a director must receive at least 60,001 votes to assure election under the following formula:

$$\left(\frac{\text{number of votes eligible to be cast}}{\text{number of directors to be elected} + 1} \right) + 1$$

FAMILY LAW

Question 3 Analysis

- Legal Problems:
- (1) Did Secretary's move into Husband's home and Boy's testimony about missing his mother constitute a substantial change of circumstances justifying reevaluation of the custody decree?
 - (2) Was joint custody in Boy's best interests given that his parents did not agree to joint custody and had a hostile relationship?

DISCUSSION

Summary: The trial court erred in modifying the custody order. A substantial change of circumstances that would justify custody reevaluation probably did not exist given the short time that had elapsed since entry of the original custody order. Although a custodial parent's nonmarital cohabitation might, in some states, constitute an unforeseen and substantial change of circumstances justifying custody reevaluation, Wife did not show that the cohabitation negatively affected Boy or his relationship with his father. Nor did Wife show that Boy's feelings of sadness were attributable to the cohabitation or even that they were new.

Assuming that a substantial change of circumstances existed, joint custody would not be in Boy's best interests: the parents did not agree to joint custody, they would not cooperate, and the mother already had liberal visitation.

Point One: (65-75%) Because the motion to modify was made within three months of the original custody order and the evidence did not show that either Secretary's move into Husband's home or Boy's feelings of sadness threatened his well-being, an appellate court would likely find that Wife had failed to establish a substantial change of circumstances.

Custody orders are invariably modifiable, but modification is impermissible unless there has been a change in circumstances since the order was entered. Most states require that the change in circumstances be substantial and unforeseen. For example, the Uniform Marriage and Divorce Act (UMDA), 9A U.L.A. 211 § 409(b) (1979) requires that there be "facts that have arisen since the prior decree or that were unknown to the court at the time of entry of the prior decree."

Most states also disfavor modification when sought shortly after a custody decree has been entered; the principle of res judicata and the belief that children's interests are served by stable custody arrangements both contribute to this view. Thus, if a modification petition is filed within two years of the original decree, UMDA § 409(a) authorizes a modification hearing only if the

evidence suggests “there is reason to believe that the child’s present environment may endanger seriously his physical, mental, moral or emotional health.” In states that do not have statutory standards restricting early modification, case law typically disfavors it unless the evidence shows that the child is at risk. Because the modification petition was brought within three months of the original order and the evidence did not show any risk of harm to Boy, appellate courts in most states would likely find that there was an insufficient basis to modify custody.

In some states, appellate courts have held that a custodial parent’s post-decree nonmarital cohabitation represents a change of circumstances sufficient to warrant a modification hearing. *See Todd v. Casciano*, 569 S.E.2d 566, 570 (Ga. Ct. App. 2002); *Word v. Remick*, 58 S.W.3d 422, 427 (Ark. App. 2001). In these states, an appellate court would likely find that the trial court did not err in hearing evidence on modification. But, even in states that authorize a hearing in these circumstances, modification is typically disallowed unless the petitioner shows that the nonmarital cohabitation has an adverse impact on the children. *See* UMDA § 402 (“The court shall not consider conduct of a proposed custodian that does not affect his relationship to the child.”); *Todd v. Casciano*, 569 S.E.2d 571. Wife presented no evidence at the hearing to show such an impact nor did she even show that Boy’s feelings of sadness were attributable to Secretary’s presence in the home. In other states, however, the mere fact of cohabitation may disqualify a parent to have custody.

A child’s custody preference is relevant to a custody determination, and alteration of a child’s custody preference thus can constitute a substantial change of circumstance. *See Butland v. Butland*, 1996 WL 362038 (Ohio Ct. App. June 27, 1996). Here, Boy’s testimony does not clearly indicate any alteration of his custody preference; Boy testified that he missed his mother, not that he wanted to live with her. Nor did the evidence show that Boy’s feelings of sadness are attributable to living with his father instead of facing his parents’ divorce. But even if Boy’s testimony were interpreted to mean that he wants to live with his mother, the feelings of young children are typically given less weight than feelings of those who are mature. Consequently, it is highly unlikely that Boy’s statement would be sufficient to qualify as a substantial change of circumstance. *See, e.g., Mulkey-Yelverton v. Blevins*, 884 P.2d 41, 43-44 (Wyo. 1994); *Butland*, (whether child’s views qualify as a substantial change of circumstance depends upon the “depth, sincerity, and the extent they reflect changed circumstances within the parent-child relationship or relationship between the parties”).

Point Two: Because the parents did not agree to joint custody and had a high-conflict (25-35%) relationship, an appellate court would likely find that joint custody was not in Boy’s best interests.

Even if there is a substantial change in circumstances, a court may not modify a custody order unless the change will serve the child’s best interests. *See* UMDA § 409(b). It is generally understood that requiring hostile parents to share custody can be harmful to children. Thus, “[w]ith few exceptions, courts and commentators agree that joint custody is a viable option only for parents who are able and willing to cooperate with one another in making decisions for their child.” *Taylor v. Taylor*, 508 A.2d 964, 971 (Md. 1986). *See also Braiman v. Braiman*, 378 N.E.2d 1019, 1020-21 (N.Y. 1978); *Word v. Remick*, 58 S.W.3d at 426.

Most courts will not impose joint custody on unwilling parents. Even in states that do permit the imposition of joint custody over a parent's objection, a court may not order joint custody unless it finds that this arrangement is in the child's best interests. In making such an assessment, it would be reversible error if the court did not consider the extent of parental conflict and the likelihood of achieving both cooperation between the parents and a stable living situation for the child. *See* Annotation, *Propriety of Awarding Joint Custody of Children*, 17 A.L.R. 4TH 1013 (1982 & Supp.).

The joint custody order in this case also fails to address the basis for Wife's modification petition. Boy will still be living in the same home with Husband's nonmarital cohabitant for substantial periods of time.

An appellate court is thus likely to find that the trial court erred both in modifying the custody decree and in ordering joint custody.

DECEDENT'S ESTATES

Question 4 Analysis

- Legal Problems:
- (1) Did Clara survive Decedent such that Decedent's estate passes under Clara's will to Son-in-Law?
 - (2) Is Half-Sister an heir of Decedent?
 - (3) Is Adopted-Sister an heir of Decedent?
 - (4) Does the \$90,000 gift to Brother reduce Brother's share of Decedent's estate?
 - (5) Is Gramps entitled to any share of Decedent's estate?

DISCUSSION

Summary: Under the Uniform Simultaneous Death Act, Clara is deemed to have predeceased Decedent. Likewise, Clara predeceased Decedent under the 120-hour survivorship rule of the Uniform Probate Code(UPC). Therefore, Son-in-Law cannot claim any share of Decedent's estate. Decedent's heirs are his siblings: Brother, Half-Sister, and Adopted-Sister. However, their respective shares of Decedent's estate may differ depending upon underlying state law. The gift to Brother is not an advancement and thus does not reduce Brother's share of Decedent's estate. If Half-Sister takes an equal share, then Brother, Half-Sister, and Adopted-Sister are each entitled to \$100,000. Gramps would take only in a state determining heirship under the civil law method of consanguinity, which very few states apply.

Point One: Under the Uniform Simultaneous Death Act, there is a presumption that Clara (30-40%) predeceased Decedent and there is no evidence here to rebut that presumption. Likewise, under the UPC's 120-hour survivorship rule, Clara predeceased Decedent because she did not survive him by 120 hours. Thus, Son-in-Law is not entitled to any share of Decedent's estate.

Son-in-Law, as the sole beneficiary under Clara's will, would be entitled to Decedent's estate only if Clara had been entitled to inherit Decedent's estate. Clara would be an heir of Decedent only if she survived Decedent, because an heir must be alive at the time of the intestate's death. However, in a situation such as this one, where the two decedents were killed in the same traffic accident, Clara is deemed to have predeceased Decedent if there is insufficient evidence that she and Decedent died other than simultaneously. Unif. Simul. Death Act § 2. Since the evidence

here is insufficient to establish that they did not die simultaneously, under the Uniform Act, Clara is deemed to have predeceased Decedent.

While it might be argued that Clara survived because the truck hit her car from the rear and presumably hit Decedent first, it is also possible that the mere impact at the rear of Clara's car was sufficient to cause both their deaths. Furthermore, the only direct evidence of their deaths was that neither appeared to be alive at the scene of the accident. Thus, there is no direct evidence to establish that Clara survived Decedent. The fact that Decedent was declared dead first should not be controlling because the declarations of death were made simply in the order in which they were removed from the ambulance, and the factual evidence supports the conclusion that neither was alive when they were placed into the ambulance.

Under § 2-104 of the UPC, Clara is also not an heir of Decedent because she failed to survive him by 120 hours.

Point Two: Half-Sister is an heir of Decedent. Depending on state law, she is entitled (10-20%) either to the same share as a whole sibling or a lesser share.

Decedent's heirs will be the descendants of his deceased parents and perhaps Gramps. *See* Point Five. The issue therefore arises whether siblings of the half-blood and adopted siblings inherit along with siblings of the whole blood.

Half-Sister and Decedent are half-bloods because they share only one common parent. Under § 2-107 of the UPC, relatives of the half-blood inherit the same share as relatives of the whole blood. Thus, Half-Sister would take \$100,000.

However, in some jurisdictions they inherit a smaller share. *See, e.g.,* Iowa Code § 633.219.

Point Three: Adopted-Sister is an heir of Decedent. (20-30%)

At common law, an adopted child could not take from or through an adopting parent. Thus, at common law, Adopted-Sister would not be Decedent's heir. By the end of the twentieth century, motivated by a policy to treat the adopted child as part of the adopting parents' nuclear family, most state laws were changed to provide that an adopted child is treated as a biological child for purposes of inheritance. Thus, under the UPC, Decedent's estate is distributed equally to the descendants of his deceased parents. *See* UPC § 2-103(3). The descendants of Decedent's parents include both their biological and adopted children. *See* UPC § 2-114(b). Thus, Adopted-Sister would take \$100,000.

Point Four: Decedent's lifetime gift to Brother is not an advancement and thus does not (20-30%) reduce Brother's share of Decedent's estate.

At common law, a lifetime transfer to a child who would be the transferor's heir was treated as a down payment on the child's intestate share. Under the common-law rule, the gift to Brother would not be an advancement as Brother is not Decedent's child. *See generally* Joel C. Dobris, Stewart E. Sterk & Melanie B. Leslie, *ESTATES AND TRUSTS* 155 (2d ed. 2003); *see also* 755 Ill. Comb. Stat. 5/2-5.

Many states have broadened the common-law rule to include transfers to any person who is an heir. However, most states also provide that a lifetime transfer to a person who would be the transferor's heir is presumptively a gift and not an advancement. *See* UPC § 2-109.

States differ in what it takes to rebut the gift presumption. Some states permit any competent evidence to be used to rebut the presumption. Others have a heightened evidentiary requirement. For example, under the UPC, the presumption that a lifetime transfer was a gift can be rebutted by a contemporaneous writing of either the decedent or the donee stating either that the gift was an advancement or that it was to be taken into account in computing the distribution of the decedent's estate. UPC § 2-109. Here, however, there is neither a writing nor any other competent evidence that Decedent intended an advancement when he made the transfer to Brother. Consequently, the transfer to Brother would be treated as a gift, not an advancement, and Brother would take \$100,000 of Decedent's estate.

Lastly, in some states an advancement only occurs when the donee would have been an heir of the decedent at the time the transfer was made. *See, e.g.,* Iowa Code § 633.224. If that rule applies here, the transfer could not be an advancement because at the time Decedent transferred the money to Brother, Clara was living and thus would have been Decedent's only heir.

Point Five: Gramps is not entitled to receive any share of Decedent's estate unless
(5-15%) heirship in the state was determined under the civil law method of consanguinity.

Under the civil law method of consanguinity, Gramps as well as Decedent's siblings would be related to Decedent within the second degree of consanguinity and Gramps would share equally with the siblings in the estate. Most states have rejected this method of determining heirship. In those states, including all those that have adopted the UPC and those that follow the parentelic method of descent, Gramps would not be entitled to share in Decedent's estate.

AGENCY & PARTNERSHIP I.A, II.A, II.B

Question 5 Analysis

- Legal Problems:
- (1) Is Owen an independent contractor or a servant (employee) of Best Care?
 - (2) Did Owen have actual or apparent authority to bind Best Care to the contract to purchase the X-ray machine?
 - (3) Is Best Care liable to Anita's estate for Owen's negligence on an apparent (ostensible) agency theory?

DISCUSSION

Summary: Whether Owen is an independent contractor or a servant (employee) is a question of fact. The degree of control is generally the distinguishing factor between an independent contractor and a servant (employee). Traditionally, Owen would have been an independent contractor because Best Care did not retain substantial control over how Owen was to practice medicine; however, recent opinions have moderated this position and look to the right to control rather than actual exercise of control.

Best Care is not liable on the Vision-Owen contract. Owen lacked actual authority to enter into the contract with Vision on behalf of Best Care because Vision was not a vendor in City. Further, Best Care had made no manifestations to provide Vision with a reasonable basis to believe that Owen was acting as an agent of Best Care.

Even if Owen is an independent contractor, he appears to the outside world—and to Anita in particular—to be an employee of Best Care as a result of Best Care's representations made on the billboards. Because of this apparent (ostensible) agency, Best Care would be estopped from denying liability for Owen's negligence and Anita's resulting death.

Point One: Owen was probably an independent contractor and not an employee of Best
(35-45%) Care, but the facts could be argued differently.

Owen is either an independent contractor or a servant (employee). "An independent contractor is a person who contracts with another to do something for him but who is not controlled by the other nor subject to the other's right to control with respect to his physical conduct in the performance of the undertaking. He may or may not be an agent." RESTATEMENT (SECOND) OF

AGENCY § 2(3). “A servant [employee] is an agent employed by a master [employer] to perform service in his affairs whose physical conduct in the performance of the service is controlled or is subject to the right to control by the master.” *Id.* at § 2(2). A number of factors are relevant in distinguishing an independent contractor from a servant. The crucial factor is the extent of control that the employer may exercise over the details of the work. *See* RESTATEMENT (SECOND) OF AGENCY § 220. Traditionally, doctors were considered independent contractors because of their high level of skill and the use of their independent judgment. *See* *McMurdo v. Getter*, 10 N.E.2d 139 (Mass. 1937). However, in recent years, courts have placed greater emphasis on the employer’s “right to interfere or control rather than [the employer’s] actual interference or exercise of control.” *See* *Knorp v. Albert*, 28 P.3d. 1024 (Kan. Ct. App. 2001); *Kelly v. Rossi*, 481 N.E.2d 1340 (Mass. 1985). Other factors used to distinguish between a servant and an independent contractor are: (1) whether the one employed is engaged in a distinct occupation or business, (2) the skill required in the particular occupation, (3) who supplies the materials to perform and the place to perform the service, (4) method of payment, and (5) how the parties characterize the transaction. RESTATEMENT (SECOND) OF AGENCY § 220 (2); *Chapman v. Black*, 741 P.2d 998 (Wash. App. 1987).

These facts could be argued either way. Here, most of the factors suggest that Owen is an independent contractor and not an employee or servant of Best Care. In particular items 1, 2, and 5 of the contract favor characterizing Owen as an independent contractor, while items 4 and 6 of the contract indicate some level of oversight and control on the part of Best Care. The self-labeling in item 1 is evidence, but is not decisive.

Point Two: Owen had neither actual nor apparent authority to bind Best Care to the
(30-40%) contract to purchase the X-ray machine. Thus, Best Care is not liable to Vision for
breach of contract.

Agency arises where one person consents that another shall act on his behalf and, at least as respects matters within the agency, subject to his control. *See generally* RESTATEMENT (SECOND) OF AGENCY § 1(1).

Actual authority arises where the principal communicates the authority to act to the agent. *See generally* RESTATEMENT (SECOND) OF AGENCY § 7; William A. Gregory, *THE LAW OF AGENCY AND PARTNERSHIP*, 3d ed. § 14. A principal is bound by contracts entered into between an agent with actual authority and a third party. *See generally* RESTATEMENT (SECOND) OF AGENCY § 144.

Item 3 of the contract provides that “[e]ach doctor is authorized to purchase supplies and equipment for Best Care’s emergency room from a list of approved vendors located in City and within Best Care’s price guidelines.” This contract provision gave Owen actual authority to buy equipment for Best Care so long as it was within specified price guidelines from suppliers located in City for Best Care’s account. If Owen had acted within this authority, Best Care would be bound even if Vision was unaware of the authorization. However, Owen exceeded his authority by purchasing equipment from Vision, which was not an approved vendor and was located 450 miles away from City. Therefore, Best Care is not liable under the contract because Owen did not have actual authority.

Further, Best Care is not liable under the theory of apparent authority. Apparent authority is created as to a “third person by written or spoken words or any other conduct of the principal which, reasonably interpreted, causes the third person to believe that the principal consents to have the act done on his behalf by the person purporting to act for him.” RESTATEMENT (SECOND) OF AGENCY § 27. There are no facts to suggest that Best Care made any representations that would create a reasonable basis for Vision to believe that Owen was authorized to purchase the X-ray machine.

Point Three: Even if Owen is an independent contractor, Best Care is liable for Owen’s (25-35%) negligence if Anita reasonably believed that Owen was acting as an agent of Best Care.

While a master is liable for the torts of its servant (employee) conducted within the scope of employment, a principal is not necessarily liable for the torts of its independent contractor agent. *See* RESTATEMENT (SECOND) OF AGENCY §§ 219, 250. A principal, however, may be estopped from denying liability for the torts of its independent contractor if the principal has created indicia of apparent authority. *See* RESTATEMENT (SECOND) OF AGENCY § 8B. This is sometimes referred to as the “holding out” theory or ostensible agency. *See Adamski v. Tacoma General Hospital*, 579 P.2d 970 (Wash. Ct. App. 1978) (The hospital may be liable under the “holding out” theory so long as the hospital acted in some way that leads the patient to a reasonable belief that he is being treated by a hospital employee).

RESTATEMENT (SECOND) OF AGENCY § 267 provides that “one who represents that another is his servant or other agent and thereby causes a third person justifiably to rely upon the care or skill of such apparent agent is subject to liability to the third person for harm caused by the lack of care or skill of the one appearing to be a servant or other agent as if he were such.” Here, Best Care publicly advertised, on billboards strategically placed throughout City, that people should come to its emergency room because “Best Care’s emergency room doctors are the absolute *best* and will really *care* for you.” Anita apparently saw and believed the slogan on the billboards because she expressly requested the ambulance driver to take her to Best Care because “Best Care’s emergency room doctors are the absolute best.” It would be reasonable for a prospective patient to conclude, based on the billboards, that all doctors in Best Care’s emergency room are employees of Best Care. As it was reasonable for Anita to believe that Owen was an agent of Best Care, under the general principle that a principal is liable for the torts committed by its agents Best Care would be liable to Anita’s estate for Owen’s actions (negligently severing an artery so that she bled to death).

NOTE: Most jurisdictions provide that a principal who hires an independent contractor to perform an “ultrahazardous” or “inherently dangerous” activity has a nondelegable duty to exercise due care to provide for the safety of persons who may be harmed by that activity. However, the usual tort and agency law definitions of ultrahazardous activity would not cover surgery, and there is no line of authority holding that a doctor’s performance of surgery falls within this rule.

FEDERAL CIVIL PROCEDURE I.A
CONFLICT OF LAWS IV.A, IV.B, IV.C

Question 6 Analysis

- Legal Problems:
- (1)(a) Were the requirements for federal diversity jurisdiction satisfied, even though Plaintiff and decedent Tortfeasor were citizens of the same state?
 - (1)(b) Was Executor precluded from raising the issue of subject matter jurisdiction because it failed to raise the issue earlier in the case and, in fact, conceded jurisdiction?
 - (2) When suit is filed to enforce a federal judgment in a state court, may the defendant collaterally attack the federal judgment for lack of subject matter jurisdiction?

DISCUSSION

Summary: The federal district court of State Y should have dismissed the action for lack of subject matter jurisdiction. The federal court lacked jurisdiction because there was no diversity. Defendant Executor's citizenship is deemed to be the same as decedent Tortfeasor's. Tortfeasor and Plaintiff were both citizens of State X. The lack of diversity defeats diversity subject matter jurisdiction and is not waivable. Defendant may raise subject matter jurisdiction at any time, and the federal court erred in denying the motion. But the issue of subject matter jurisdiction was fully litigated in federal court, so Defendant is precluded from raising it in a collateral attack on the judgment. The state court in State X must therefore enforce the federal judgment.

Point One(a): Even though Plaintiff and Executor were from different states, diversity (20-30%) jurisdiction was unavailable because, under 28 U.S.C. § 1332(c)(2), "the legal representative of the estate of a decedent shall be deemed to be a citizen only of the same State as the decedent." Plaintiff and Executor's decedent, Tortfeasor, were both citizens of State X and consequently the requirements for diversity jurisdiction were not met.

Plaintiff's complaint included only a state-law negligence claim. The court, therefore, had subject matter jurisdiction only if diversity jurisdiction existed under 28 U.S.C. § 1332. To satisfy the diversity statute, the amount in controversy in the action must exceed \$75,000 and the parties must be diverse.

Plaintiff's complaint alleged damages in excess of \$500,000. The facts state that Plaintiff was severely injured and there is nothing to suggest that Plaintiff's damages claim was made in bad faith. Consequently, Plaintiff will be deemed to have satisfied the amount-in-controversy requirement of \$75,000. 28 U.S.C. § 1332(a).

The diversity of citizenship requirement, however, is not satisfied in this case. For purposes of determining citizenship, an individual is a citizen of the state in which he or she is domiciled. *See, e.g., Mas v. Perry*, 489 F.2d 1396, 1399 (5th Cir. 1974). Plaintiff and decedent, Tortfeasor, were both citizens of State X. Defendant, Executor, was a citizen of State Y. On the face of it, the plaintiff and defendant were citizens of different states, satisfying the diversity requirement. However, diversity jurisdiction should have been unavailable because Executor stands in the shoes of Tortfeasor and takes Tortfeasor's citizenship for purposes of diversity. Under 28 U.S.C. § 1332(c)(2), "the legal representative of the estate of a decedent shall be deemed to be a citizen only of the same State as the decedent." Thus, because Executor was sued as a representative of Tortfeasor's estate, Executor was deemed to be a citizen of the same state as Tortfeasor, State X. Plaintiff, of course, is also a citizen of State X, so diversity jurisdiction should have been unavailable.

Accordingly, the district court erred in denying the motion to dismiss for lack of jurisdiction. The motion was proper when made, and it should have been granted because the parties were not diverse. (*See* Point One(b) below.)

Point One(b): Executor's motion to dismiss for lack of subject matter jurisdiction must be
(15-25%) considered on the merits, even if it was raised a year after Executor answered and
admitted jurisdiction.

Although the motion to dismiss for lack of subject matter jurisdiction was filed a year after Executor's answer to the complaint admitted the existence of jurisdiction, the court was nevertheless obliged to consider the motion on its merits. The defense of lack of subject matter jurisdiction is not waivable and may be raised "*whenever* it appears by suggestion of the parties . . . that the court lacks jurisdiction of the subject matter." Fed. R. Civ. P. 12(h)(3) (emphasis added). Accordingly, the court was obliged to consider the merits of Executor's jurisdictional challenge.

Point Two: The state court is required to give the federal court judgment the same credit it
(50-60%) would receive in federal court. Because Executor litigated the issue of subject
matter jurisdiction before the federal court, lost, and did not appeal, Executor is
precluded from relitigating the issue of jurisdiction in state court.

State courts are required to give full faith and credit to the judgments of other states. U.S. Const. art. IV, §1. Likewise, state, federal, and territorial courts are required to give state court judgments the same credit that they would receive in the courts of the rendering state. 28 U.S.C. § 1738. Although neither Article IV nor the full faith and credit statute explicitly requires state courts to honor federal judgments, "it is well recognized that the same compulsion controls and thus state courts must treat federal judgments as those judgments would be treated by the federal

courts themselves.” Jack Friedenthal et al., CIVIL PROCEDURE § 14.15 at 711 (3d ed. 1999) (footnote omitted); *see also Stoll v. Gottlieb*, 305 U.S. 165, 172 (1938).

In *Durfee v. Duke*, 375 U.S. 106, 111 (1963), the United States Supreme Court announced the “general rule that a judgment is entitled to full faith and credit even as to questions of jurisdiction when the second court’s inquiry discloses that those questions have been fully and fairly litigated and finally decided in the court which rendered the original judgment.” *See also Treinies v. Sunshine Mining Co.*, 308 U.S. 66, 78 (1939). Here, Executor raised the lack of subject matter jurisdiction in the federal court action. The issue was briefed, argued, and decided. Although the court’s decision on the issue was mistaken, no appeal was taken and the court’s judgment became final. If the second suit had been filed in federal court, the doctrine of issue preclusion or collateral estoppel would bar the defendant from relitigating the issue of subject matter jurisdiction since the identical issue was fully and fairly litigated in the first suit. Full faith and credit requires that the federal judgment have the same effect in the state court. Thus, the state court should enforce the federal judgment notwithstanding the challenge to the federal court’s subject matter jurisdiction. If Executor had wished to continue the jurisdictional challenge, Executor should have filed an appeal from the decision of the federal district court.

NOTE: The U.S. Supreme Court has ruled that the preclusive effect of the judgment of a federal court sitting in diversity should be determined by the law of the state in which the federal court sits. *See Semtek Int’l, Inc. v. Lockheed Martin Corp.*, 531 U.S. 497 (2001). Thus, the preclusion rules of State Y would determine whether the State X court should enforce the federal judgment. It is likely, however, that State Y would follow a rule of jurisdictional finality similar to the rule in *Durfee v. Duke*: if the question of subject matter jurisdiction was fully and fairly litigated, the judgment is not subject to collateral attack. *See* RESTATEMENT (SECOND) OF JUDGMENTS § 12.

SECURED TRANSACTIONS II.D, IV.J, V.A.1; SALES VI.C, VII. B

Question 7 Analysis

- Legal Problems:
- (1) Did Finance Co.'s letter to Buyer informing it of the assignment of the purchase agreement to Finance Co. obligate Buyer to make future payments under the contract directly to Finance Co.?
 - (2) Can Buyer reduce the amount it owes Finance Co. by subtracting the expenses it incurred to add the attachments to the excavator?

DISCUSSION

Summary: Once Finance Co. notified Buyer of the assignment of the right to receive payment and demanded payment of the balance, Buyer was obligated to pay Finance Co., notwithstanding Seller's instruction to the contrary. However, Buyer had the right to offset against Finance Co. its damages for Seller's breach of contract, even though Buyer had accepted delivery of the excavator.

Point One: (45-55%) Once Finance Co. properly notified Buyer of the assignment of the purchase agreement and instructed Buyer to make payments directly to Finance Co., Buyer was obligated to make all payments under the contract to Finance Co.; Buyer's payments to Seller did not discharge that obligation.

As a result of the security agreement signed by Seller, Finance Co. had a security interest in all of Seller's accounts and chattel paper. Moreover, the security agreement expressly provided that payments arising from Seller's "accounts and chattel paper" had been assigned to Finance Co. Under Article 9 of the Uniform Commercial Code, a security interest in "accounts" covers any "right to payment of a monetary obligation, whether or not earned by performance, . . . for property that has been or is to be sold." UCC § 9-102(a)(2). Consequently, Finance Co.'s security interest covered the amount owed by Buyer to Seller pursuant to Buyer's agreement to purchase the excavator.

Article 9 gives a secured party or assignee of an account (i.e., Finance Co.) the right to collect directly from the account debtor (i.e., Buyer) in the event of a default by the debtor (i.e., Seller). UCC § 9-607(a)(1). To exercise that right effectively, Finance Co. must send an authenticated notification to the account debtor informing the account debtor that the amount due has been assigned and that payment is to be made to the assignee. The facts state that Finance Co. properly notified Buyer of the assignment of Seller's right to receive payment and directed Buyer to make future payments to Finance Co. *See* UCC § 9-406(a), cmt. 2. *See generally* James J. White & Robert S. Summers, UNIFORM COMMERCIAL CODE § 25-5 (5th ed. 2000).

Once an account debtor receives proper notification to make future payments directly to an assignee, the account debtor may discharge its payment obligation *only* by payment to the assignee. Payments made to the assignor do not result in discharge. UCC § 9-406(a).

The fact that Seller told Buyer to disregard the notice from Finance Co. is no defense. Proper notice from Finance Co. (assignee) is all that is required to obligate Buyer to make payment directly to Finance Co., and nothing in the UCC allows an assignor like Seller to interfere with the rights of the assignee in this way. Rather than ignoring the assignment and relying on Seller for instructions, Buyer should have demanded proof of the assignment from Finance Co. Had it done so, Buyer could have safely paid Seller until reasonable proof was offered. *See* UCC § 9-406(b)(c). What Buyer cannot do is what it did here—ignore the notification of the assignment and continue to pay Seller.

Consequently, Buyer was obligated to make the March and April payments to Finance Co., and it remains liable for those payments. Buyer was not discharged by reason of its payment to Seller. Buyer is also obliged to make the May payment to Finance Co., subject to an offset, as discussed below.

Point Two: Buyer can assert Seller's breach of contract as a defense to payment and offset
(45-55%) its damages against the amount it owes Finance Co.

The rights of an assignee of an account (Finance Co.) are subject to “any defense or claim in recoupment arising from the transaction that gave rise to the contract.” UCC § 9-404(a)(1). The account debtor may, of course, waive the right to assert defenses against an assignee, but there is nothing in the facts to suggest that Buyer waived this right.

Here, the facts establish that Buyer has a defense against full payment of the contract price. Seller agreed to supply Buyer with an excavator that was specially equipped. Moreover, Seller agreed to supply the excavator by a particular date, when Seller knew that Buyer needed it to begin work. When that date arrived, the excavator had not been equipped as required by the contract. Buyer nevertheless took delivery of the excavator, despite its failure to conform to the contract.

When a buyer takes goods in spite of a known nonconformity with the contract, the buyer has accepted the goods for the purposes of sales law. UCC § 2-606. Acceptance ordinarily obligates a buyer to pay the contract price. UCC § 2-607. However, acceptance of nonconforming goods does not bar a remedy for breach, so long as the buyer notifies the seller of the breach within a reasonable time of its discovery. Here, Buyer notified Seller of the nonconforming nature of the excavator at the time it took possession of the equipment and told Seller it intended to offset its costs for the attachments. As a result, Buyer is entitled to assert its remedies for breach, despite its acceptance of the goods.

In general, Buyer's remedy is the recovery of damages for the nonconformity, defined as “the loss resulting in the ordinary course of events from the seller's breach as determined in any manner which is reasonable.” UCC § 2-714(1). Moreover, Buyer “may deduct all or any part of

the damages . . . from any part of the price still due,” so long as Buyer notifies Seller of the intention to do so. UCC § 2-717. Here, Buyer notified Seller of its intention in this regard.

Buyer’s contract claims against Seller may be asserted against Finance Co., as assignee of the contract, to reduce the amount owed by Buyer. UCC § 9-404(b).

Under the contract, Buyer owes \$75,000 to Finance Co. (the amount of the March and April payments, which Buyer improperly sent to Seller, and the amount of the upcoming May payment). Buyer claims \$30,000 in damages from Seller’s breach, and it may deduct that amount from the amount owed under the contract. *See generally* James J. White & Robert S. Summers, UNIFORM COMMERCIAL CODE § 10-2 (5th ed. 2000)(techniques for measuring damages under UCC § 2-714). Consequently, Buyer owes Finance Co. \$45,000.

2005 MEE
Questions and Analyses

2005 MEE Questions and Analyses

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Preface

This publication includes the questions and analyses from the February 2005 and July 2005 Multistate Essay Examinations. Each test includes seven questions; most jurisdictions that use the MEE select the six questions their applicants will answer.

The model analyses to the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions for the sole purpose of assisting graders in grading the examination. These models are not an official grading guide. Some jurisdictions grade the MEE on the basis of state law, and jurisdictions are free to modify the analyses as they wish, including the suggested weights given to particular points. Grading of the MEE is the exclusive responsibility of the jurisdiction using the MEE as part of its admissions process.

The topic or topics covered by each question are listed on the first page of its accompanying analysis, followed by Roman numerals which refer to the MEE subject matter outline for that topic. For example, Question 3 on the February 2005 MEE tested Federal Civil Procedure I.A.1., subject matter jurisdiction in federal courts, and I.E., venue. Subject matter outlines are included in the *MEE Information Booklet* and can also be found at **www.ncbex.org**.

Description of the MEE

The MEE is a three-hour examination consisting of six questions. The examination is administered in one continuous three-hour time period. Applicants are expected to spend approximately thirty minutes answering each of the questions. The areas of law covered by the questions in the examination are: Agency and Partnership, Commercial Paper, Conflict of Laws, Corporations and Limited Liability Companies, Decedents' Estates, Family Law, Federal Civil Procedure, Sales, Secured Transactions, and Trusts and Future Interests. Some questions include issues in more than one area of law.

The purpose of the MEE is to test the applicant's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the applicant to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test form contains the following instructions:

Do not break the seal on this booklet until you are told to begin.

You will have three hours in which to write your answers to six of the seven questions contained in this booklet; you will be told which of the questions you are to answer. Each question is designed to be answered in thirty minutes. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise, simply draw a line through the material you wish to delete.

Read each fact situation very carefully and do not assume facts which are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show: an understanding of the facts; a recognition of the issues included; the applicable principles of law; and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Some jurisdictions instruct applicants to answer MEE questions according to the law of the jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

February 2005
Questions

Question 1

Corp, a corporation validly incorporated in State A, manufactures computer desks and sells them to furniture stores in State A and several nearby states. The board of directors of Corp consists of three members. The board of directors appointed Presley as the president of Corp. The bylaws of Corp provide that “the president, as the chief executive officer of the corporation, shall manage the business of the corporation and perform such other duties as the board of directors may from time to time direct.”

Furniture Store (FS) owes Corp \$11,000 for computer desks it purchased last year. Presley learned that FS was on the verge of bankruptcy and retained an attorney to file suit against FS to collect payment. The attorney filed suit as directed.

Presley believes that Corp should pay a dividend to its shareholders. Consequently, Presley sent a letter to all shareholders declaring a dividend of 10 cents per share to be paid at the end of the month.

Large Corp (Large), a large national furniture chain, contacted Presley and offered to sell its local manufacturing plant to Corp for what Presley considers a very reasonable price. Further, Large is willing to accept payment of the purchase price over 10 years. Acquiring this plant would triple Corp’s manufacturing capacity. Presley signed a purchase agreement for the plant on behalf of Corp without consulting the board.

1. Did Presley, as president, have the authority to retain an attorney to file suit against FS on behalf of Corp? Explain.
2. Did Presley, as president, have the authority to declare a dividend payable to Corp’s shareholders? Explain.
3. Did Presley, as president, have the authority to enter into a purchase agreement with Large to acquire its local manufacturing plant on behalf of Corp? Explain.

Question 2

Kit wanted to purchase a car that cost \$4,800. Dealer agreed to loan Kit the money if she got someone to co-sign the loan.

Art agreed to co-sign the loan but only if Kit agreed to paint his house. On November 2, 2002, Kit signed a separate agreement with Art in which she promised to paint Art's house within 90 days.

On November 3, 2002, to cover the cost of the car and accumulated interest, Kit signed a promissory note that stated "On November 4, 2003, I promise to pay to the order of Dealer, \$5,000." Art signed his name directly beneath Kit's signature.

Kit never painted Art's house. On November 4, 2003, without consulting Art, Kit went to see Dealer. Kit told Dealer that she currently had the money to repay the loan, but she had a rare opportunity to take a trip to the Far East and needed the money to pay for the trip. Kit offered Dealer a check for \$2,000 and requested an extension of time to pay the remaining \$3,000 on the loan. Dealer, sympathetic to Kit's situation, refused to accept the check and agreed to extend the entire loan until January 2, 2004. The next day Kit left on her trip. As of January 3, 2004, she had not returned, and neither Art nor Dealer can find her.

Dealer sues Art on the note for \$5,000. Art defends on the following grounds: (1) The note is not a valid negotiable instrument because it was subject to the condition that Kit paint Art's house; (2) Dealer did not first try to collect from Kit; (3) Art was discharged when Dealer refused Kit's tender of \$2,000; and (4) Art was discharged when Dealer extended the loan date without Art's consent.

Does each of Art's grounds of defense relieve him partly or completely of any obligation to pay Dealer? Explain.

Question 3

Buyer and Seller were both citizens of State X, where they attended State University. Just before they graduated, Buyer purchased Seller's car for \$2,500. At the time, Seller told Buyer that the car was "in good working order" and that it was a "safe, reliable little car." Seller knew, however, that a local mechanic's inspection of the car had revealed that its brakes were so worn that they presented a significant safety hazard and required immediate replacement. Instead of informing Buyer of the danger, Seller showed Buyer the mechanic's bill and told him that the car "has just been checked out."

After graduation, Buyer decided to move permanently to Big City in State Y. Buyer decided to use the car he bought from Seller for the move. He believed that in a few round-trips he could transport all of his belongings to his new apartment in Big City. On his way back to his State X apartment after his first trip to his new apartment in Big City, Buyer was seriously injured in a one-car accident on a highway in State X. Friend, a citizen of State X and a passenger in Buyer's car, was the only witness to the accident. He and Buyer will testify that the accident happened when the brakes failed as Buyer attempted to negotiate a curve in the highway.

After weeks of hospitalization in State X, Buyer settled permanently in his apartment in Big City in State Y. Having discovered Seller's deceit, Buyer sued Seller in the U.S. District Court for the District of State X, seeking to recover \$500,000 under State X tort law for his injuries and lost wages. In addition, Buyer claimed Seller's misrepresentations constituted a breach of warranty under State X contract law and sought recovery of the \$2,500 paid for the car.

One week after the suit was filed, Seller also decided to relocate from State X to Big City, taking a job there and assuming State Y citizenship.

Seller has filed a motion to dismiss Buyer's two claims for lack of subject matter jurisdiction. Seller has also moved for a change of venue to the U.S. District Court for the District of State Y.

1. Should the court dismiss Buyer's tort claim, Buyer's contract claim, or both for lack of subject matter jurisdiction? Explain.
2. How should the court rule on Seller's motion for a change of venue? Explain.

Question 4

Harold and Wendy were divorced in State A and awarded joint custody of their two children, John, age 5, and Amanda, age 3. Under the terms of the divorce decree, both parents were to share in decisions concerning the care, education, religion, medical treatment, and general welfare of the children, but Wendy was awarded primary physical custody, which, in this case, meant that the children would live with her except during alternate weekends and the month of July. Harold was also ordered to pay monthly child support in the amount of \$500 per child until each child reached the age of 18.

Two years after the divorce, Wendy was offered a job in State B that would double her salary but necessitate a move to an area of State B located about 100 miles from Harold's home in State A. When Wendy told Harold of her desire to accept the job offer and move to State B, he objected that such a move would prevent him from exercising his visitation rights.

Harold petitioned the State A court to issue an order prohibiting Wendy from relocating with the children. The court found that Wendy's decision to move was motivated by a desire to improve her family's standard of living. It denied Harold's petition. Wendy then moved with the children to State B, where she began her new job, set up a new residence, and registered the child support order.

After Wendy and the children moved to State B, Harold stopped making child support payments. In response, Wendy sought enforcement of the State A support order in a State B court. Wendy also petitioned the State B court to extend Harold's obligation to pay child support until the children reach age 21, as authorized under the law of State B. Under the law of State A, there is no obligation to pay child support for children over the age of 18. She further petitioned the court to modify the State A custody order by eliminating the joint decision-making provision. Harold was personally served when he came to State B to take the children on vacation.

In response to Wendy's petition, Harold claimed that the State B court did not have jurisdiction to enforce or modify any of the State A orders.

1. Was the State A court's decision to allow Wendy to relocate with the children to State B correct? Explain.
2. May the State B court enforce the State A child support order? Explain.
3. May the State B court modify the State A child support order by extending the support obligation to age 21? Explain.
4. May the State B court modify the State A custody decree by eliminating the joint decision-making provision? Explain.

Question 5

In 1991, Testator validly executed a typewritten will. Its dispositive provision provided that:

1. I give \$10,000 to Cousin.
2. I give Blackacre, my family home, to Sister.
3. I give the residue of my estate to University, my alma mater.

Three months after executing this will, Testator, desiring to increase the bequest to Cousin, scratched out Item 1 in its entirety and immediately above it wrote in by hand: "I give \$100,000 to Cousin." This handwritten \$100,000 bequest was not witnessed.

In 1994, Testator sold Blackacre, the family home, and reinvested the entire sales proceeds in Whiteacre, which became Testator's new family home.

In 1994, one month after buying Whiteacre and following a heated argument with Cousin, Testator validly executed two copies of a new typewritten will that left his entire estate to University. Testator then put both executed copies of the 1994 will in his safe deposit box, where the 1991 will was also located.

In 1999, Testator and Cousin reconciled. Immediately thereafter, Testator went to the safe deposit box and removed one of the executed copies of the 1994 will. In the course of reviewing it, Testator had second thoughts about leaving nothing to Cousin. However, rather than executing a new will, he tore up that copy of the 1994 will in the presence of his neighbor and stated: "I feel better now. Cousin is taken care of."

Last year, Testator, a domiciliary of State A, died leaving a substantial estate, including Whiteacre. Both the 1991 will with the handwritten changes and the remaining executed copy of the 1994 will were found in Testator's safe deposit box.

Both Cousin and Sister survived Testator. Under State A intestacy law, Sister would be Testator's only heir. State A also has a statute providing: "The revocation of a will that revoked an earlier will revives the earlier will in the absence of a contrary intention." State A does not permit holographic wills.

What, if anything, are Cousin and Sister entitled to receive from Testator's estate? Explain.

Question 6

Bill operated a restaurant in a building he owned. On March 1, he purchased a large oven on credit for \$8,000 from Sal's Appliance Barn. On that same day, the oven was set aside in Sal's warehouse and marked with a tag reading, "Sold to Bill." Also on March 1, Bill signed a security agreement that gave Sal's a security interest in the oven to secure the unpaid purchase price of the oven.

On March 14, the oven was delivered and bolted permanently into a specially built niche in the kitchen in Bill's restaurant, thus becoming a fixture under local real estate law.

On March 26, the local sheriff came to the restaurant and announced that he was there to execute a levy to satisfy a \$3,000 judgment against Bill in favor of Local Bank. The sheriff saw the new oven in the restaurant's kitchen and announced he was levying on the oven. He then physically disabled the oven by handcuffing it shut and placed a notice-of-levy sticker on it, which qualified as a valid levy under state law.

On March 28, after learning from Bill about what happened with the sheriff and the oven, Sal's filed its financing statement in the Secretary of State's office but not in the local real estate records office. Sal's financing statement properly described the oven.

On March 29, Bill obtained a \$10,000 loan from Finance Company and gave Finance Company a mortgage on his building to secure repayment of the loan. On the same day, Finance Company properly perfected a valid lien against the restaurant building and accompanying fixtures by filing in the local real estate records office designated by state law.

1. As between Sal's and Local Bank, who has priority as to the oven? Explain.
2. As between Sal's and Finance Company, who has priority as to the oven? Explain.

Question 7

For many years, Ruth owned and operated a restaurant as a sole proprietorship doing business as (d/b/a) Ruth's Family Restaurant. In 2001, Ruth sold the assets of the restaurant to Scott. Ruth and Scott agreed that: (1) the restaurant would operate under the name "Ruth's Family Restaurant"; (2) Ruth would manage the restaurant for Scott but would have no ownership interest in the restaurant; (3) all necessary licenses would remain in Ruth's name; and (4) Ruth would hire all employees, but only on an at-will basis (as is customary in the restaurant business). No one other than Ruth and Scott was aware that Scott had bought the restaurant.

Prior to Scott's purchase of the restaurant, Ruth had purchased supplies from Wholesale Restaurant Supply Co. (Wholesale), always signing the contracts as "Ruth, d/b/a Ruth's Family Restaurant." Following Scott's purchase of the restaurant, Scott instructed Ruth in very clear terms not to make any purchases of restaurant supplies from Wholesale in the future. Ruth complied with this instruction for the next several months.

In 2003, Ruth hired Nora, her niece, as assistant manager of the restaurant under a written employment contract for a 20-year term. Ruth signed the contract as "Ruth, d/b/a Ruth's Family Restaurant."

Soon after Nora was hired, she pointed out to Ruth that Wholesale's prices were generally less than those of the other local supply company. Despite Scott's clear prohibition, Ruth resumed buying supplies from Wholesale, again signing all contracts as "Ruth, d/b/a Ruth's Family Restaurant."

When Scott discovered what Ruth had done, Scott took over management of the restaurant, discharged Nora and Ruth, and refused to pay thousands of dollars of invoices from Wholesale for restaurant supplies delivered to the restaurant.

Wholesale has sued Scott to recover on the outstanding invoices. Nora has sued Scott for breach of the employment contract.

Under agency law:

1. Is Scott liable to Wholesale? Explain.
2. Is Scott liable to Nora? Explain.

February 2005
Analyses

CORPORATIONS I.B; IV.C; V.C.1

ANALYSIS

- Legal Problems:
- (1) Did Presley, as president of Corp, have authority to retain an attorney to file suit against FS for payment of \$11,000 on behalf of Corp?
 - (2) Did Presley, as president of Corp, have authority to declare a dividend payable to Corp's shareholders?
 - (3) Did Presley, as president of Corp, have the authority to enter into a purchase agreement with Large to acquire its local manufacturing plant for Corp?

DISCUSSION

Summary: According to the bylaws of Corp, Presley, as president, is the CEO and has authority to manage the business of the corporation. Therefore, Presley had authority to retain an attorney to file suit against FS to collect the \$11,000 FS owed Corp so long as collecting on this type of obligation (an account receivable) was in the ordinary course of business and the lawsuit was filed to preserve corporate assets. Presley did not have authority to declare a dividend to Corp's shareholders. Dividends can be authorized only by the board of directors. Finally, Presley did not have authority to enter into a purchase agreement with Large to acquire its local manufacturing plant for Corp. The purchase of an additional manufacturing plant would be outside the ordinary course of business.

Point One: (30-40%) As president of Corp, Presley had authority to retain an attorney to file suit against FS to collect the \$11,000 FS owed Corp because retaining an attorney to collect an account receivable was in the ordinary course of Corp's business. Further, as FS was on the verge of bankruptcy, Presley was attempting to preserve one of Corp's assets.

Corporations are managed by or under the direction of their boards of directors. *See* Revised Model Business Corporation Act (RMBCA) § 8.01. The board of directors generally delegates day-to-day management of the corporation's business to officers. *See* RMBCA §§ 8.40, 8.41. Traditionally, officers had only those powers conferred on them by the bylaws or resolutions of the board of directors. *See Black v. Harrison Home Co.*, 99 P. 494 (Cal. 1909); *Daniel Webster Council, Inc. v. St. James Assoc., Inc.*, 533 A.2d 329 (N.H. 1987). Today, most states presume that the president has the inherent power to act for the corporation so long as the matter is within the scope of its ordinary business. *See, e.g., Lee v. Jenkins Bros.*, 268 F.2d 357, 365-66 (2d Cir. 1959); *Belcher v. Birmingham*

Trust National Bank, 348 F. Supp. 61 (N.D. Ala. 1968); *Gunter v. Novopharm USA, Inc.*, 2001 U.S. Dist. LEXIS 2117 (N.D. Ill. 2001).

Presley was appointed president of Corp by its board of directors. The bylaws provide that “the president, as the chief executive officer of the corporation, shall manage the business of the corporation and perform such other duties as the board of directors may from time to time direct.” Pursuant to the bylaws, Presley, as chief executive officer responsible for managing the business, had the authority to retain an attorney to file suit against FS for the following reasons: Corp manufactures computer desks and sells them to furniture stores like FS. FS purchased computer desks but has not paid for them. Presley was attempting to collect on an account receivable. Hiring an attorney to bring suit against a retailer for payment is part of Corp’s ordinary course of business.

Absent a prohibition contained in bylaws or imposed by the board of directors, Presley had authority to bring suit on behalf of Corp, so long as it was in the ordinary course of business. *See Custer Channel Wing Corp v. Frazer*, 181 F. Supp. 197, 200 (S.D.N.Y. 1959); *West View Hills, Inc. v. Lizau Realty Corp*, 160 N.E.2d 622, 624 (N.Y. 1959) (absent direct prohibition, a president has presumptive authority to prosecute suits in the name of the corporation). *See generally* 2A FLETCHER’S CYCLOPEDIA OF PRIVATE CORPORATIONS § 618 (discussing presidents’ authority to bring legal proceedings). There are no facts indicating that the board of directors has withheld authority from Presley to commence litigation on behalf of Corp.

Some case law indicates that the president may only commence litigation to preserve corporate assets or prevent dissipation. *See Lloydona Peters Enterprises v. Dorius*, 658 P.2d 1209, 1211 (Utah 1983). Even under this test, Presley had authority to sue FS. As FS was on the verge of bankruptcy, by retaining an attorney to file suit, Presley was attempting to preserve a corporate asset.

Point Two: Presley did not have authority to declare a dividend payable to Corp’s shareholders.
(25-35%) Corporate law reserves the authority to declare dividends to the board of directors.

Although the president of a corporation has the authority to bind the corporation by acts that are in the ordinary course of business (*see* Point One above), the president does not have the authority to declare or pay dividends to shareholders. Corporate law confers this authority only on the directors of the corporation. *See* RMBCA § 6.40(a); Del. Gen. Corp. Law. § 170(a). Consequently, only the board of directors has the power to declare a dividend. *See* 1 PRINCIPLES OF CORP. GOVERNANCE § 3.01 Reporter’s Note (“some matters, such as the declaration of dividends, are required by statute to be decided by the board”). Therefore, Presley, as an officer, did not have the authority to declare a dividend payable to Corp’s shareholders.

Point Three: Presley has no power, as president, to enter into a purchase agreement to acquire (30-40%) Large's local manufacturing plant on behalf of Corp because the transaction is extraordinary in nature.

The president of a corporation has the authority to bind the corporation by acts that are in the ordinary course of business, but does not have the authority to bind the corporation by extraordinary acts. *See* Point One above. While some acts are clearly ordinary or extraordinary, in many cases there is no bright line demarcation. "Any attempt at precision in drawing this line would almost certainly be futile, because the issue is highly dependent on the context in which it arises, and the types of business transactions that may arise are endlessly variable." *See* 1 PRINCIPLES OF CORP. GOVERNANCE § 3.01 Reporter's Note. Factors that a court might consider in determining whether a transaction is extraordinary include "the economic magnitude of the action in relation to corporate earnings and assets, the extent of the risk involved, the time span of the action's effect, and the cost of reversing the action." *Id. See also Joseph Greenspon's Sons Iron & Steel Co. v. Pecos Valley Gas Co.*, 156 A. 350, 352-53 (Del. Super. 1931) (factors include "the character of the goods ordered, the amount thereof in relation to the size and condition of the company, the nature of the company, its purposes and aims").

The facts surrounding Presley's planned purchase of Large's local manufacturing plant do not provide numbers to calculate the economic impact of the purchase on the corporation, but they do suggest that the impact would be significant. Additionally, while Presley believes the price is "very reasonable," the payment process could span 10 years. Finally, it seems likely that it would be costly to reverse the transaction if it turned out not to be beneficial to Corp.

Consequently, it is very likely that entering into a purchase agreement to acquire Large's local manufacturing plant would be viewed as an extraordinary act. As such, Presley, as president, would not have actual authority to sign the purchase agreement without the approval of the board of directors.

Further, there are no facts that gave Large a reasonable basis to believe that Presley was authorized to enter into this purchase agreement. Therefore, Presley also lacked apparent authority to enter into the purchase agreement.

COMMERCIAL PAPER IIB, VJ, VIIB, VIID

ANALYSIS

- Legal Problems:
- (1) Is a promissory note a negotiable instrument if, in a separate document, the obligor promises to do an act in addition to paying money?
 - (2) Does a person entitled to enforce an instrument need to attempt recovery from the obligor before seeking recovery from an accommodation party that signed in the capacity of maker?
 - (3) Does tender of partial payment by the accommodated party discharge an accommodation party?
 - (4) Does an extension of time discharge an accommodation party?

DISCUSSION

Summary: The promissory note is a valid negotiable instrument. Kit's promise to paint Art's house is set forth in a separate document and is not referenced in the promissory note; therefore, the separate promise does not destroy the note's negotiability. Art is an accommodation party because he signed the instrument and did not receive any direct benefit from the loan proceeds. Art signed in the capacity of maker without any limiting language. Therefore, Dealer, a holder and a person entitled to enforce the instrument, may proceed directly against Art without first pursuing Kit.

However, Art is not obligated to pay Dealer anything. When Dealer refused Kit's tender of \$2,000, Dealer released Art to the extent of \$2,000. When Dealer extended Kit's time to pay without consulting Art, Art was released from his obligation to pay the remaining \$3,000 because Art can demonstrate loss with respect to his right of recourse against Kit. Kit had the money on the day the loan was due, but currently cannot be found.

Point One: (20-30%) The promissory note is a valid negotiable instrument. Kit's promise in a separate agreement to paint Art's house does not affect the note's negotiability.

The promissory note satisfies the requisites of negotiability set forth in § 3-104 of the Uniform Commercial Code (UCC). It is an unconditional promise to pay ("I promise to pay") a fixed amount of money (\$5,000) payable at a definite time (November 4, 2003) and payable to order ("to the order of Dealer"). The promissory note does not contain any other undertakings or instructions. Kit's

undertaking to paint Art's house constitutes compensation to Art for being an accommodation party. But because their separate agreement is not included or referenced in the note, it is not an additional undertaking or a condition that destroys negotiability. *See* UCC § 3-106.

Point Two: Dealer, a person entitled to enforce the instrument (UCC § 3-301), may collect from (20-30%) Art, an accommodation maker, without first proceeding against Kit.

Dealer is a holder of the instrument because the instrument was issued to him and he is the identified person in possession. UCC § 1-201(20). As a holder, he is a person entitled to enforce the instrument. UCC § 3-301. Art is an accommodation party because he signed the instrument and did not receive any direct benefit from the loan proceeds. UCC § 3-419(a). The loan proceeds were used to purchase Kit's car. Kit's promise to paint Art's house constitutes consideration for Art's agreement to guarantee the loan; it does not constitute a direct benefit from the loan proceeds.

An accommodation party "is obliged to pay the instrument in the capacity in which [he] signs." UCC § 3-419(b). When Art signed the promissory note directly under Kit's name, he signed in the capacity of maker. A maker is liable to pay the note "according to the terms at the time it was issued." UCC § 3-412. Art did not include any words unambiguously "guaranteeing collection rather than payment." Therefore Dealer, a person entitled to enforce the instrument, can proceed against Art, an accommodation maker, under UCC § 3-412 without first proceeding against Kit. *See* UCC § 3-419(d).

Point Three: When Dealer rejected Kit's tender of payment of \$2,000, Art was discharged to the (20-30%) extent of the amount of tender. *See* UCC § 3-603(b).

"If tender of payment of an obligation to pay an instrument is made to a person entitled to enforce the instrument and the tender is refused, there is discharge, to the extent of the amount of the tender, of the obligation of an indorser or accommodation party having a right of recourse with respect to the obligation to which the tender relates." UCC § 3-603(b).

Art, as an accommodation party, has a right of recourse against Kit in the event Art pays the note. UCC § 3-419(e). Thus, when Kit tendered \$2,000 to Dealer, a person entitled to enforce the instrument (*See* above), and Dealer rejected the payment, Art was released to the extent of the tender (\$2,000).

Point Four: When Dealer extended Kit's time to pay without Art's consent, Art was discharged (20-30%) from his obligation to pay the remaining \$3,000 because Art can prove the extension caused him loss with respect to his right of recourse against Kit.

"If a person entitled to enforce an instrument agrees, with or without consideration, to an extension of the due date of the obligation of a party to pay the instrument, the extension discharges an indorser or accommodation party having a right of recourse against the party whose obligation is extended to the extent the indorser or accommodation party proves that the extension caused loss to

the indorser or accommodation party with respect to the right of recourse.” UCC § 3-605(c).

Dealer, a person entitled to enforce the promissory note (*See* Point Two above), granted Kit an extension of time from November 4, 2003, until January 2, 2004. As a result, Art, an accommodation party who has a right of recourse against Kit if he is obligated to pay the loan (*See* UCC § 3-419(e)), is discharged to the extent he can prove that this extension caused loss with respect to his right of recourse. Here, Art can show that the extension caused him a loss of the remaining \$3,000. On the due date, Kit had the money necessary to pay the debt. Kit has since disappeared with the money. Accordingly, Art should be discharged from having to pay Dealer the remaining \$3,000.

NOTE: If an applicant missed the tender of payment argument, the applicant could correctly conclude that Art was discharged from the entire \$5,000 based solely upon this extension of time.

FEDERAL CIVIL PROCEDURE I.A.1, I.E.

ANALYSIS

- Legal Problems:
- (1)(a) Were the requirements for federal diversity jurisdiction satisfied as to the tort claim, given that Buyer and Seller were citizens of different states when the suit was filed but subsequently became citizens of the same state?
 - (1)(b) Does the federal district court have jurisdiction over Buyer's contract claim, even though it does not independently satisfy the jurisdictional amount-in-controversy requirement?
 - (2) May the court transfer a case to another district when venue did not lie in the other district at the time the suit was filed?

DISCUSSION

Summary: Because Buyer and Seller were citizens of different states at the time the suit was filed, the requirements for diversity jurisdiction were met with respect to the tort claim. Moreover, the contract claim was properly aggregated with the tort claim to satisfy the amount-in-controversy requirement, and in any event there was supplemental jurisdiction over the contract claim because both claims derive from a common nucleus of operative fact. Transfer to the federal court in State Y would be inappropriate because the claim could not have been brought there in the first instance.

Point One(a): Buyer properly invoked federal diversity jurisdiction as to the tort claim because
(30-40%) Buyer was a citizen of State Y and Seller was a citizen of State X when the complaint was filed, and the amount in controversy exceeds \$75,000.

The court should deny Seller's motion to dismiss for lack of subject matter jurisdiction over the tort claim. The requirements for federal diversity jurisdiction have been established in this case.

Buyer's claims are based on state law. Therefore, to proceed in federal court, he must satisfy 28 U.S.C. § 1332(a), which establishes the requirements for federal subject matter jurisdiction based on diversity of citizenship. According to the plain terms of the statute, "the matter in controversy [must] exceed the sum or value of \$75,000," and be between "citizens of different states." The courts have interpreted § 1332 as requiring the parties to be diverse *at the time the suit is filed*, and not at the time the cause of action arises. *See, e.g., Gordon v. Steele*, 376 F. Supp. 575 (W.D. Pa. 1974) (citing cases); Charles A. Wright, Arthur R. Miller & Edward H. Cooper, FEDERAL PRACTICE AND

PROCEDURE § 3608 (1998). Here the amount-in-controversy requirement has been met with regard to the claim for personal injury and lost wages (\$500,000), and the only question is whether the diversity requirement is met.

In determining the citizenship of the parties, the courts look to the domicile of each party, examining “[t]he fact of residency . . . coupled with a finding of intent to remain indefinitely.” *Gordon, supra*, quoting cases; see also *Mas v. Perry*, 489 F.2d 1396 (5th Cir. 1974). A change of domicile is effected “by a combination of two elements: (a) taking up residence in a different domicile with (b) the intention to remain there.” *Id.* The important question is whether Buyer was a citizen of State Y at the time the suit was filed. Having completed his move to State Y at that time, and having the intent to remain in State Y, Buyer was then a State Y citizen. Buyer was therefore diverse from Seller, who was still a citizen of State X when the suit was filed.

Indeed, some applicants may conclude, based on Buyer’s rental of an apartment and his intent to remain in Big City, that he was already a citizen of State Y at the time of the accident (and hence before the time the suit was filed).

Because citizenship is determined at the time suit is filed, Seller’s post-filing move to State Y does not affect the court’s diversity jurisdiction. The parties were diverse at the time the suit was filed and changes in citizenship after filing are irrelevant, absent bad faith on the part of a party. *Wright, Miller & Cooper*, FEDERAL PRACTICE AND PROCEDURE § 3608 (1998).

Point One(b): Although the \$2,500 contract claim alone would not satisfy the amount-in-controversy requirement for a diversity action, Buyer may aggregate the contract claim with his tort claim in order to satisfy the amount-in-controversy requirement.

Buyer’s effort to join the small contract claim to his large tort claim can be analyzed in two ways. First, under traditional aggregation rules, a single plaintiff with “two entirely unrelated claims against a single diverse defendant” may bring them in federal court as long as the aggregate of the claims exceeds the \$75,000 amount-in-controversy requirement. Charles Alan Wright, *LAW OF FEDERAL COURTS* 210 (5th ed. 1994). The rationale is that “the diversity statute confers federal jurisdiction over ‘civil actions’ satisfying the required minimum amount in controversy . . . not over counts, thus permitting the plaintiff to aggregate the stakes in his separate claims or counts to come up to the minimum.” *Herremans v. Carrera Designs, Inc.*, 157 F.3d 1118, 1121 (7th Cir. 1998). Thus, because the aggregate of Buyer’s tort and contract claims exceeds \$75,000, the court has jurisdiction to hear them all, including the contract claim for \$2,500.

Second, under the federal supplemental jurisdiction statute, 28 U.S.C. § 1367(a), district courts “shall have supplemental jurisdiction over all claims that are so related to claims in the action within such original jurisdiction that they form part of the same case or controversy.” See also *United Mine*

Workers v. Gibbs, 383 U.S. 715 (1966). The standard test is whether the claims “derive from a common nucleus of operative fact.” *Id.* In this problem, the tort and contract claims, which both derive from the sale of a car with defective brakes, are “so related” as to arise from the “same case or controversy,” and the district court may, accordingly, take supplemental jurisdiction over the

contract claim. None of the exceptions in § 1367(b) apply.

Point Two: The State X federal district court cannot transfer the action to the federal court in
(30-40%) State Y because venue would not have been proper in State Y at the time the action
 was first filed.

Seller's motion for a change of venue should be denied. In a diversity case, venue properly lies, and a civil action may only be brought, in a judicial district "where any defendant resides . . ." or "in which a substantial part of the events or omissions giving rise to the claim occurred . . ." 28 U.S.C. § 1391(a). At the time the case was commenced, Seller, the defendant, resided in State X. Moreover, all relevant events occurred in State X. Hence, at the time the suit was filed, venue was proper only in the State X federal district court.

Seller's subsequent move to State Y does not warrant a change of venue. The change of venue statute, 28 U.S.C. § 1404, permits a district court to transfer actions "for the convenience of parties and witnesses, in the interest of justice." However, a change of venue is only permitted "to any other district or division where [the case] *might have been* brought." *Id.*

The relevant time frame under both the basic venue statute and the venue transfer statute is the time that the suit is filed. As a consequence, the court should deny Seller's motion for a change of venue. At the time Buyer's suit was brought, the only possible venue was State X. As noted above, State X was both Seller's residence and the place where a substantial part of the events giving rise to Buyer's claim—the sale of the car and the accident—occurred. There was little or no connection between State Y and the events giving rise to the action. Accordingly, because the case could not have been brought in State Y, the requirements of § 1404 are not met, and the motion for a change of venue must be denied. It is irrelevant that Seller now resides in State Y.

In addition, it is possible to argue that discretionary factors also would justify denial of a transfer. Because the events occurred in State X, and most, if not all, of the witnesses are from State X (the mechanic, those responding to the accident, the hospital employees treating Buyer, and Friend), it can be argued that "the convenience of the parties and witnesses, and . . . the interests of justice" are all best served by permitting the case to go forward in State X.

NOTE: While an answer that mentioned only the discretionary factors might lead to a correct result, it would *not* be an adequate answer. The key point, which controls the result, is that the action could not have been brought originally in State Y and therefore could not be transferred there.

FAMILY LAW III.F, III.G, III.H, IV.B, IV.E.1

ANALYSIS

- Legal Problems:
- (1) May a custodial parent relocate to another state when the move infringes on the noncustodial parent's right of visitation, and was it proper to allow relocation of the children in this case?
 - (2) May a court in a state other than that of the original child support order enforce the collection of child support in a case where the obligor still resides in the original state but has been personally served in the state where modification is sought?
 - (3) May a court in a state other than that of the original child support order modify the order based on its own law in a case where the obligor still resides in the original state but has been personally served in the state where modification is sought?
 - (4) May a court in a state other than that in which the original child custody order was entered modify a child custody decree when the parent-contestant still resides in the original state but has been personally served in the state where modification is sought?

DISCUSSION

Summary: Although the various states utilize a variety of decision-making standards in judging parental relocation requests that inhibit visitation with the noncustodial parent, a move sought in good faith that will serve the children's best interests ordinarily will be granted. Although State B obtained personal jurisdiction over Harold when he was personally served in State B, jurisdiction over the interstate enforcement and modification of child support orders is governed by the Uniform Interstate Family Support Act (UIFSA). Under that Act, State B would have jurisdiction to enforce the State A order as long as Wendy registers it, but because Harold is still a resident of State A, State B would *not* have jurisdiction to modify the order.

Jurisdiction over the interstate modification of a child custody order is governed by the federal Parental Kidnapping Prevention Act (PKPA). Under the PKPA, as well as the Uniform Child Custody Jurisdiction and Enforcement Act (UCCJEA), the State B court would not have jurisdiction to modify the State A custody order decree because Harold is still a resident of State A.

Point One: If a custodial parent's relocation petition is made in good faith and not for the

(30-35%) of defeating the other parent's visitation rights and if the move is in the best interests of the children, permission to move with the children will be granted.

In enunciating standards to govern relocation disputes, courts have balanced the impact on visitation by the noncustodial parent against the benefits of the move to both the children and the custodial parent. *See* Homer Clark, *THE LAW OF DOMESTIC RELATIONS IN THE UNITED STATES* § 19.4 at 814 (2d ed. 1988). Although the law in this area “has been unusually unstable, with some states having undergone rather significant shifts in their standards over recent years . . . , [t]he clear trend has been that of increasing leniency toward the parent with whom the child has been primarily living.” American Law Institute, *PRINCIPLES OF THE LAW OF FAMILY DISSOLUTION* § 2.17 cmt. d (2002). Some states now permit the custodial parent and child to move unless the parent's motives for moving are vindictive. *See, e.g., Aaby v. Strange*, 924 S.W.2d 623 (Tenn. 1996). Other states require the parent who wishes to relocate to show that the proposed move serves the child's best interests. *See, e.g., Pollock v. Pollock*, 889 P.2d 633 (Ariz. 1995). Yet others will permit the custodial parent to relocate unless the evidence shows that the move will be detrimental to the child. *See, e.g., Marriage of Pape*, 989 P.2d 1120 (Wash. 1999). Some courts have also emphasized the availability of an alternative reasonable visitation schedule; if such an alternative exists, the court will almost always grant the relocation request. *See Schwartz v. Schwartz*, 812 P.2d 1268 (Nev. 1991).

Under any of these approaches, Wendy should be permitted to relocate to State B. There is no evidence that Wendy's proposed move was aimed at defeating Harold's visitation rights, and the court found that her request was made in good faith. Wendy was offered a job in State B at a salary twice that of her job in State A, an improvement in her economic circumstances that would clearly benefit the children. There is no evidence that the move would adversely affect the children socially or educationally. Both are very young (ages 5 and 7) and thus highly unlikely to suffer from the loss of long-term relationships or the disruption of an academic program. Because Wendy's new home in State B is only 100 miles from Harold's, it is likely that a reasonable alternative visitation schedule that will fully protect the children's relationship with Harold can be worked out: the original visitation order called for visitation on alternate weekends and during the month of July; certainly the July visitation schedule could be preserved and some of Harold's alternate weekends could be replaced with longer visitation periods during school holidays; if Harold and Wendy were to share the job of transporting the children to Harold's home, weekend visits also seem quite plausible. Accordingly, the court was correct in allowing Wendy to relocate with the children.

NOTE: Applicants who analyze this issue on the basis of the constitutional right to travel should not receive credit. However, applicants who note that some courts use that right as a rationale for a consensual relocation standard might receive a modicum of extra credit.

Point Two: A registered child support order is enforceable in a nonissuing state.
(20-30%)

The interstate enforcement of child support is governed by UIFSA, which has been adopted by all states. Although the courts of State B have personal jurisdiction over Harold based on in-state personal service (*See Burnham v. Superior Court of California*, 495 U.S. 604 (1990)), personal jurisdiction is not enough to give a State B court jurisdiction to enforce or modify the State A

support and custody decrees.

Under UIFSA § 603(b), a registered child support order issued in another state is “enforceable in the same manner and is subject to the same procedures as an order issued by a tribunal of this State.” Thus, the State B court may exercise personal jurisdiction over Harold and enforce the State A child support order because Wendy registered that order.

NOTE: Applicants could receive extra credit for noting that Wendy could still enforce the State A order through a State B court even if State B did not have personal jurisdiction over Harold. To do so, she would utilize UIFSA’s two-state procedures.

Point Three: The state that issued a child support order retains exclusive jurisdiction to modify
(20-30%) that order as long as the support obligor continues to reside in that state.

The interstate modification of a child support order is also governed by UIFSA. Under UIFSA, the state that originally issued a child support order has continuing, exclusive jurisdiction to modify the order if that state remains the residence of the obligee, the child, or the obligor, and at least one of the parties does not consent to the jurisdiction of another forum. *See* UIFSA § 205. *See also* UIFSA § 603 (“A tribunal of this State shall recognize and enforce, but may not modify, a registered order if the issuing tribunal had jurisdiction.”). Harold continues to reside in State A and has not consented to the jurisdiction of another forum. Thus, a State B court does not have jurisdiction to modify the State A order. An extension of the child support obligation from 18 to 21 years would represent an impermissible modification because, under UIFSA, the law of the issuing state, State A, governs the support obligation, not the law of the enforcing state, State B. *See* UIFSA § 604. The fact that Harold was personally served in State B does not change this result. *See* Point Two above.

Point Four: Only the courts of the state that originally issued a child custody order may
(20-30%) modify that order while the child or any contestant continues to reside in the issuing
 state.

The interstate modification of a child custody order is governed by the federal Parental Kidnapping Prevention Act (PKPA). The joint decision-making provision that Wendy sought to modify is part of the State A custody order, and the PKPA provides that a state may not modify a custody order issued by another state if either the child or any contestant continues to reside in the issuing state and the issuing state’s courts do not decline to exercise jurisdiction. *See* 28 U.S.C. § 1738A(c)). State B’s personal jurisdiction over Harold does not alter this result. Under the Supremacy Clause, the PKPA takes precedence over any conflicting state law. *See, e.g., Murphy v. Woerner*, 748 P.2d 749 (Alaska 1988).

It is also unlikely that State B law would conflict with the PKPA, as the Uniform Child Custody Jurisdiction and Enforcement Act (UCCJEA), which in 2003 had been adopted in 31 states, contains custody-modification standards virtually identical to those of the PKPA. Under the UCCJEA, a state that properly issued a custody decree retains continuing, exclusive jurisdiction until all parties and the child have left the state, or an issuing state court has determined that there is no longer any

significant connection between the child and the person remaining in the state and that substantial evidence is no longer available in that state. *See* UCCJEA § 202.

Since there are no facts to suggest that State A would decline to exercise jurisdiction, a State B court may not modify the State A custody decree. Thus, if Wendy wishes to modify the custodial arrangement, she will be required to institute proceedings in State A.

DECEDENTS' ESTATES II. F.1, 3; II. G.; II. I.

ANALYSIS

- Legal Problems:
- (1) Does the physical destruction of one executed copy of the 1994 will, done with the intent to revoke, effectively revoke the 1994 will if the other executed copy has not been physically destroyed?
 - (2) Is the 1991 will revived by the revocation of the 1994 will?
 - (3) Assuming the 1991 will is revived, is Cousin entitled to \$100,000, \$10,000, or nothing?
 - (4) Assuming the 1991 will is revived, did the bequest to Sister adeem?

DISCUSSION

Summary: Testator's 1994 will was revoked by physical destruction even though only one of the two executed copies was physically destroyed because in doing so Testator intended to revoke the 1994 will. Under the State A statute, revocation of the 1994 will revived the 1991 will. Under the 1991 will, \$10,000 passed to Cousin because the handwritten cancellation of that bequest was conditioned on the effectiveness of the \$100,000 bequest. However, the \$100,000 bequest cannot be given effect because it was not witnessed. Furthermore, while under the common law the bequest to Sister adeems, in some states Sister is entitled to Whiteacre, the replacement property for Blackacre. If an applicant concludes that the 1994 will was not revoked because there was one remaining executed copy, Cousin and Sister take nothing.

Point One: Testator's 1994 will was revoked by the physical destruction of one of two executed
(25-35%) copies of that will.

All states permit the revocation of a will by physical destruction if that act is accompanied by an intent to revoke. *See generally* Uniform Probate Code (UPC) § 2-507. If Testator had not executed the 1994 will in duplicate, there would be no question that it was revoked because the facts evidence both a physical destruction and an intent to revoke.

However, the 1994 will was executed in duplicate, and the physical destruction of one copy may have been motivated either by a desire either to revoke the will or to revoke only the copy. While the matter has not been considered in all states, the prevailing view is that the revocation of one copy presumptively revokes the will. *See, e.g., In re Betts' Will*, 107 N.Y.S.2d 626 (N.Y. Sur. 1951); *In re Estate of Mettee*, 694 P.2d 1325 (Kan. Ct. App. 1985). The proponent of the copy of the will that

was not destroyed must then prove that Testator did not intend to revoke the will. Here, Testator's statement accompanying the destruction of one copy as well as the other surrounding facts suggest that Testator intended to revoke the 1994 will for the purpose of reviving the 1991 will. Thus, Testator would not have intended the other copy of the 1994 will to remain in effect.

Point Two: Under the State A statute, the 1991 will was revived by the revocation of the 1994 will because there is no evidence that Testator did not intend a revival of the earlier will.
(5-15%)

The State A statute provides that "the revocation of a will that revoked an earlier will revives the earlier will in the absence of a contrary intention." Here, the facts support the conclusion that Testator, by revoking the 1994 will, intended to revive the 1991 will. In particular, when revoking the 1994 will, Testator made reference to the fact that by revoking the 1994 will Cousin would be taken care of. That result would only be true if the 1991 will were revived. Given that intent and the statutory directive, the 1991 will is revived.

Point Three: Under the doctrine of dependent relative revocation, Cousin is entitled to \$10,000. Cousin is not entitled to \$100,000 because that intended bequest was made by an unattested act.
(35-45%)

On the assumption that the 1991 will was revived, the question arises whether Cousin takes \$100,000 as Testator likely intended, \$10,000 under the doctrine of dependent relative revocation, or nothing because the typewritten bequest to Cousin was revoked by cancellation.

While Testator may well have intended Cousin to take \$100,000 as evidenced by the handwriting on the will and the statement accompanying the revocation of the 1994 will, since State A does not permit holographic wills, that writing cannot be given effect as a valid will or codicil because it was not witnessed. While the facts do not state what the State A statute requires for execution formalities, all states minimally require two witnesses to create a valid will unless they permit holographic wills.

Given that Cousin cannot take the \$100,000, the issue arises whether Testator's scratching out of the \$10,000 bequest to Cousin results in the revocation of that bequest under the typical revocation statute.

Under the doctrine of dependent relative revocation, the physical revocation of a bequest can be ignored if evidence exists to suggest that the testator revoked that bequest on the mistaken assumption that some other bequest would be effective. *See generally* William M. McGovern & Sheldon F. Kurtz, *WILLS, TRUSTS AND ESTATES* § 5.3 (2d ed. 2001). Such evidence appears here not only from the fact that immediately above the scratching out of the bequest appeared the words of the greater, albeit ineffective, bequest, but also from the statements Testator made to his neighbor regarding Cousin when the 1994 will was revoked. If the doctrine does not apply, however, then Cousin takes nothing because the \$100,000 is ineffective as a bequest and the \$10,000 bequest was revoked by cancellation.

Point Four: Under the common law, the bequest to Sister adeemed, although some states have
(15-25%) statutes substituting the new home for the home that was sold.

An adeemption of a bequest occurs when the subject of a specific devise has been sold by the testator between the time the will was executed and the time the testator dies. *See generally* McGovern & Kurtz, *supra*, § 8.1 (2d ed. 2001); *In re Estate of Brown*, 922 S.W.2d 605 (Tex. App. 1996) (devise of family home at specified address adeemed where home at time will was signed was not the home at time of testator's death). The theory behind adeemption is that a testator, knowing of the disposition of the specifically devised property, could execute a new will to take account of that disposition if the testator wanted some substitute bequest to pass to the beneficiary. Absent the execution of a new will, Testator presumably does not intend the beneficiary to take any substituted property.

Some states, however, have adopted statutes that substitute so-called replacement property for the specific property disposed of by the testator. For example, § 2-606 of the Uniform Probate Code (UPC) provides that a specific devisee (here, Sister) is entitled to any property acquired by a testator as "replacement property" for the property that the testator sold. The facts support the conclusion that Whiteacre was acquired by Testator as a substitute for Blackacre. Thus, under the UPC, or a similar statute, Sister would be entitled to Whiteacre. Absent such a statute, Sister would be entitled to nothing under the common law.

In the absence of a statute, a court might also reach the same result by noting that the will reflects the intent to devise Sister the family home, arguably without regard to whether the family home was Blackacre or Whiteacre.

SECURED TRANSACTIONS IV. B, D, F, G

ANALYSIS

- Legal Problems:
- (1) Did Sal's purchase-money security interest in the oven, which involved a delayed filing, defeat Local Bank where Local Bank is an intervening judicial lien creditor?
 - (2) Did Sal's purchase-money security interest in the oven, filed only with the Secretary of State's Office, defeat Finance Company, a subsequent mortgage lender that has filed a lien on the building in which the oven is located in the appropriate local real estate records office?

DISCUSSION

Summary: Sal's extension of credit to Bill provided the purchase money for Bill to buy the oven. When Bill signed the security agreement on March 1 granting Sal's a security interest in the oven, which was "goods" at the time of the purchase, a purchase-money security interest attached in favor of Sal's. It was not perfected as against other creditors at that time because Sal's had not filed a financing statement. However, a purchase-money secured creditor has 20 days *after delivery of the collateral* to perfect by filing. If the creditor does so, the security interest is perfected retroactively to the date of attachment. Under these facts, Sal's perfected by filing on March 28, which was less than 20 days after the March 14 delivery to Bill.

Ordinarily, a lien creditor, such as Local Bank, would have priority over an earlier unperfected secured creditor. However, because of the retroactive effect of Sal's filing its purchase-money interest, which related back to March 1 (the day Sal's security interest attached), Sal's prevails over Local Bank as to the oven.

However, Sal's failure to effect a valid "fixture filing" produces the opposite result vis-à-vis Finance Company. The oven is clearly a fixture. In order to perfect its security interest in the oven as a fixture against persons with interest in the real estate, Sal's was required to file a record of its interest in the local real estate records office designated by state law. Because Sal's did not do this, Sal's interest was not perfected as against Finance Company. Finance Company, as an "encumbrancer" by virtue of the mortgage granted to it by Bill, perfected its security interest in the building (and therefore in the fixtures as well) by filing in the appropriate real estate records office. Thus, Finance Company's interest in the oven prevails over Sal's.

Point One: Because Sal's interest in the oven was a purchase-money security interest, Sal's had

(55-65%) priority over Local Bank, an intervening judicial lien creditor, even though Sal's failed to file its financing statement until after the judicial lien arose.

Because Sal's extension of credit enabled Bill to purchase the oven, Sal's had a purchase-money security interest in "goods." Uniform Commercial Code (UCC) § 9-103(1)(b). The oven qualified as "goods" under UCC § 9-102(44) because it was "moveable" when the security interest attached on March 1. Although a judicial lien creditor would normally have priority over an unperfected secured creditor, UCC § 9-317(a)(2), in this case Sal's lien had priority over the interest of Local Bank because Sal's perfected a purchase-money security interest within the grace period provided for in UCC § 9-317(e).

UCC § 9-317(e) provides that, if a purchase-money secured creditor files its financing statement within 20 days after the debtor receives delivery of the collateral, then the secured creditor will take priority over the rights of a judicial lien creditor whose lien arose between the attachment of the purchase-money security interest and the filing of the financing statement. In this case, Sal's perfected its interest on March 28 when it filed its financing statement in the Secretary of State's Office. UCC §§ 9-308(a), 9-310(a) (attachment plus filing a financing statement will qualify as perfection). That date was more than 20 days after Sal's security interest in the oven attached on March 1. UCC § 9-203(b) (attachment occurs where the creditor has given value, the debtor has rights in the collateral, and the debtor has signed a security agreement). However, Sal's perfected within 20 days after Bill received delivery of the collateral on March 14. Therefore, Sal's perfected security interest in the oven relates back to the date of attachment, March 1, and takes priority over Local Bank's judicial lien, which became perfected on March 26.

Point Two: Because Sal's failed to file in the local real estate records, Finance Company has
(35-45%) priority over Sal's; Finance Company is a subsequent mortgagee that perfected its interest in the restaurant building where the oven is located by filing in the local real estate records.

The oven in which Sal's has a purchase-money security interest is a "fixture" under Article 9 and applicable state law because it is "so related to particular real property that an interest in [it] arises under real property law." UCC § 9-102(41).

The general rule under Article 9 for priority in fixtures is that a security interest in the fixture will be subordinate to "a conflicting interest of an encumbrancer or owner of the related real property other than the debtor." UCC § 9-334(c). Here the related real property is the restaurant building, and Finance Company's mortgage in that building qualifies as an encumbrance on it. Thus, Finance Company is as an "encumbrancer . . . of the related real property."

UCC § 9-334 includes a number of exceptions to the general rule that security interests in fixtures are subordinate to a conflicting interest of an owner or encumbrancer of the related real property. The only exceptions that might have been available to Sal's in UCC § 9-334(d) (purchase-money priority exception) and (e)(1) (where the debtor had a record interest in the realty) would require, among other things, that Sal's had effected a proper "fixture filing." UCC § 9-102(30). A fixture filing must be recorded in the local real estate records office. UCC § 9-502(b). In this case, Sal's

failed to file in the local real estate records office.

Because Finance Company is an encumbrancer of the related real property and because Sal's fails to qualify for any of the exceptions listed in UCC § 9-334, Finance Company has priority as to the oven even though Finance Company's security interest was created after Sal's perfected its interest in the oven by filing in the Secretary of State's office.

AGENCY & PARTNERSHIP I. B.; II. A, B, C

ANALYSIS

- Legal Problems:
- (1) What is the nature of the legal relationship between Scott and Ruth?
 - (2) Does an agent have actual authority to bind an undisclosed principal to contracts that are made in violation of the principal's instructions to the agent?
 - (3) Does an agent have apparent authority to bind an undisclosed principal to contracts that are made in violation of the principal's instructions to the agent?
 - (4) Does an agent have inherent agency power to bind an undisclosed principal to contracts that are made in violation of the principal's instructions to the agent?

DISCUSSION

Summary: Ruth was Scott's agent for purposes of operating the restaurant. However, Ruth did not have actual authority to purchase supplies from Wholesale or to employ Nora for a 20-year term because these actions violated Scott's express instructions to Ruth. Ruth also lacked apparent authority to bind Scott because Scott was an undisclosed principal, and neither Wholesale nor Nora was aware that Ruth was acting in an agency capacity. Scott did nothing to manifest to Wholesale or Nora that Ruth had authority to act on his behalf.

Nevertheless, Ruth probably had inherent agency power to bind Scott to pay for the supplies purchased from Wholesale. The purchase of restaurant supplies is the kind of transaction usually performed by a restaurant manager, and the principal is appropriately held responsible for that transaction, even if Ruth violated Scott's orders in the way in which she carried it out. By contrast, hiring an assistant manager for a 20-year term is not the type of transaction one would ordinarily expect to be performed by a restaurant manager, and Ruth's inherent agency power probably did not extend to binding Scott to such a contract.

Point One: Ruth was Scott's general agent for the operation of the restaurant. Because the
(10-20%) agency was not disclosed to persons dealing with Ruth's Family Restaurant, Scott was an "undisclosed principal."

Ruth and Scott agreed that Ruth would act as Scott's agent. Moreover, Ruth was a "general agent"

for Scott, having been authorized, as manager of the restaurant, to conduct a series of transactions to ensure continuity of service for Scott, as owner of Ruth's Family Restaurant. *See* RESTATEMENT (SECOND) OF AGENCY § 3(1) (1958). However, neither party disclosed the agency relationship to outsiders. As a result, Scott was Ruth's "undisclosed principal." *See* RESTATEMENT (SECOND) OF AGENCY § 4(3) (1958) (defining undisclosed principal).

As Scott's agent, Ruth could bind Scott to contracts with Wholesale or Nora if Ruth had actual authority, apparent authority, or inherent agency power to enter such contracts. The issue in this problem is whether an agent has the power to bind an undisclosed principal to contracts that the agent enters in violation of instructions from the principal.

Point Two: Because her actions violated Scott's express instructions, Ruth had no actual
(20-30%) authority to purchase restaurant supplies from Wholesale or to hire Nora for a 20-
year term.

Actual authority "to affect the legal relations of the principal" exists only if the agent's acts are "done in accordance with the principal's manifestations of consent." RESTATEMENT (SECOND) OF AGENCY § 7 (1958). Thus, Ruth had actual authority to bind Scott only insofar as Ruth acted consistently with Scott's "manifestations of consent" to her.

Here, Ruth's acts were completely contrary to Scott's instructions. Ruth was told not to contract with Wholesale, yet she did so. Ruth was instructed to hire employees only on an at-will basis, yet she hired Nora for a 20-year term. Because these acts were done contrary to Scott's "manifestations of consent" to Ruth, they were not done with actual authority.

Point Three: Ruth had no apparent authority to bind Scott because Scott was an undisclosed
(20-30%) principal, and neither Nora nor Wholesale was aware that Ruth was Scott's agent.

Apparent authority is created when a purported principal causes third persons to believe that the purported agent has the power to act on behalf of the principal. In other words, apparent authority depends on a person's manifestations to a third person "that another is his agent." *See* RESTATEMENT (SECOND) OF AGENCY § 8 & comment a (1958).

Ruth could not have apparent authority to bind Scott because Scott made no manifestations to anyone that Ruth was his agent. In fact, no one other than Ruth or Scott was aware of their agency relationship. Furthermore, Scott and Ruth took pains to avoid disclosing the agency, even to the extent of Ruth's signing all contracts as "Ruth, d/b/a Ruth's Family Restaurant." "Apparent authority exists only with regard to those who believe and have reason to believe that there is authority; there can be no apparent authority created by an undisclosed principal." *Id.* Neither Nora nor Wholesale was aware that Scott was Ruth's principal.

Point Four: Scott might be liable to Wholesale on the theory that Ruth had inherent agency
(25-35%) power to bind Scott to contracts for the purchase of restaurant supplies, but a court is

unlikely to conclude that Ruth had inherent agency power to bind Scott to an extraordinary employment contract.

Even if Ruth lacked actual or apparent authority to bind Scott, as Scott's agent, Ruth might have had "inherent agency power" to bind Scott to transactions undertaken to benefit Scott that were similar to the types of activities authorized, even if those transactions were in violation of orders. *See* RESTATEMENT (SECOND) OF AGENCY § 8A and comment a (1958). The concept of "inherent agency power" provides a means for courts to protect persons dealing with agents even when the agent violates orders. The theory is that an agent is generally acting "in the principal's interests" and is "trusted and controlled" by the principal. When such an agent's disobedience causes a loss, it is "fairer" that the loss fall upon the principal than on a third party, at least if the agent is engaged in acts generally of a kind that would fall within his or her actual authority, but for the violation of instructions.

Inherent agency power has generally been found in precisely the kind of situation presented on these facts. Can agent has been given general power to manage a business and has done acts for the principal's account, albeit in violation of instructions. *See* RESTATEMENT (SECOND) OF AGENCY §§ 161, 194-195 (1958).

Under the facts of this problem, Ruth probably did have inherent agency power to contract with Wholesale for the delivery of restaurant supplies. Ruth was a general agent and was authorized to purchase restaurant supplies. Purchasing restaurant supplies from the local supply company that offered the best prices would be a "usual" or ordinary transaction for an agent managing a restaurant. If Ruth somehow violated Scott's special instructions, Scott should nonetheless be liable to Wholesale, especially since Scott's business certainly benefitted by purchasing cheaper supplies from Wholesale. *See* RESTATEMENT (SECOND) OF AGENCY § 194 (1958).

On the other hand, Scott is not likely to be held liable to Nora. Ruth's entry into a contract to employ Nora as an assistant manager for a 20-year term was not a transaction that would be "usual" in the restaurant business. Although restaurant managers regularly hire and fire employees, at-will employment contracts are the norm. An employment contract specifying a 20-year term would be extraordinary and unusual in any business; certainly a 20-year term of employment is neither usual nor necessary in employing an assistant restaurant manager. A restaurant's business manager would not ordinarily have the power to enter such a contract. Therefore, Ruth had no inherent agency power to bind Scott to a 20-year employment contract with Nora.

Another fact to consider is that Nora was Ruth's niece, which suggests that the fairness concern that undergirds inherent agency analysis may, in fact, cut in Scott's favor here. It would seem unfair to hold Scott responsible for Ruth's violation of instructions when the violation was done to benefit a member of Ruth's family.

NOTE: The draft Third Restatement of Agency eliminates the concept of inherent agency power, but would reach the same results in the case of an undisclosed agency relationship under a theory that it calls "estoppel of undisclosed principal." *See* RESTATEMENT (THIRD) OF AGENCY, TENTATIVE DRAFT No. 2, §2.06.

July 2005
Questions

Question 1

Ten years ago, Testator purchased an insurance policy on his life from Insurer. The policy provided that Insurer would pay the proceeds only to the person named on a beneficiary form filed with Insurer. Testator filed such a form with Insurer, naming his son Sam as the sole beneficiary.

A year later, Testator, concerned about his failing physical health, opened Account #1 at Bank in the name of “Testator and Sam” as joint tenants with right of survivorship, not as tenants in common. Testator thereafter gave Sam checks that would enable him to withdraw funds from Account #1. Testator was the only person who deposited funds into Account #1, and he received all statements relating to it.

Five years ago, Testator duly executed a will containing the following dispositive clauses:

1. I give the proceeds of my Insurer life insurance policy to my daughter, Doris.
2. I give Account #1 at Bank to my daughter, Doris.
3. I give the balance of my estate to the children of my son Sam, to be divided equally among them.

Three months ago, Testator died and his will was duly probated. Testator was survived by Sam, Doris, and one of Sam’s three children. Two of Sam’s children predeceased Testator. One of the predeceased children, Ann, died seven years ago, and the other, Bill, died two years ago. Ann had a child who survived Testator, and Bill had a child who survived Testator.

Testator was a domiciliary of State A. State A law provides that, “if a beneficiary who is a descendant of the testator predeceases the testator, the beneficiary’s surviving issue take the share the deceased beneficiary would have taken had the beneficiary survived.”

To whom should the life insurance proceeds, Account #1, and the balance of Testator’s estate be distributed? Explain.

Question 2

Peg, an entrepreneur, decided to develop a widget manufacturing business. Widget production requires the use of a chemical called chromite. Because the market price for chromite has fluctuated between \$150 and \$200 per ton over the past year, the first thing Peg did was contact numerous chemical companies to find a long-term supplier for chromite.

On May 20, Peg received a quote from Chem Corp. stating that it could supply Peg's corporation with all of its chromite at \$145 per ton for the next three years. Chem Corp. indicated that the quote would expire at the end of the week. Peg informed Chem Corp. that her corporation, to be called "Acme, Inc.," would not be formed by that time. Peg further indicated that, "The deal should be between Acme, Inc. and Chem Corp. If Chem Corp. does not care if I sign for a non-existent corporation, you have a deal." Chem Corp. responded: "No problem. We know with whom we are dealing and what the chromite's for. Do not waste our time. If you are serious, lock in the deal."

On May 26, Peg and Chem Corp. signed a three-year requirements contract for Chem Corp. to supply her soon-to-be-formed corporation with all of its chromite at a price of \$145 per ton. Peg signed the contract "Peg, as agent for Acme, Inc., a corporation to be formed." The requirements contract was valid under state law. It contained a valid and substantial liquidated damages clause in the event Acme purchased chromite from any other supplier.

On August 1, Peg formed Acme, Inc. Peg was a shareholder, but not an officer or a director. Neither the board of directors nor the officers of Acme, Inc. formally reviewed or approved the contract with Chem Corp.

On August 15, Chem Corp. made its first delivery of chromite to Acme, Inc. at the contract price of \$145 per ton. Vic, an Acme employee, acting pursuant to the direction of Acme's board of directors, accepted delivery and approved payment of the invoice after checking the contract and determining that the invoice agreed with the contract price. Acme, Inc. immediately began widget production.

In September and October, Chem Corp. made deliveries of chromite to Acme and charged Acme according to the contract. Acme promptly paid each invoice.

During the fall, the market price for chromite fell. By November, the market price for chromite was \$100 per ton. The Acme board of directors, seeking a cheaper supply of chromite, entered into an agreement with Supply, Inc. to provide Acme with its monthly requirements of chromite at \$95 per ton.

Acme immediately contacted Chem Corp. and instructed it not to ship Acme any more chromite. When Chem Corp. demanded payment under the liquidated damages clause, Acme refused.

1. Is Peg personally liable to Chem Corp. under the contract? Explain.
2. Is Acme, Inc. liable to Chem Corp. under the contract? Explain.

Question 3

On August 1, 2003, Builder, a construction company, borrowed \$2 million from Lender to finance the purchase of a heavy-duty construction crane. Shareholder, a very wealthy shareholder of Builder, personally guaranteed the loan. Builder signed an agreement granting Lender a security interest in the new crane to secure the loan. However, Lender neglected to file a financing statement reflecting its security interest.

Due to severe cash flow problems, Builder stopped making scheduled loan payments four months ago, leaving a balance of \$1.5 million on the loan.

In response to Builder's failure to make the scheduled loan payments, Lender hired a repossession service to recover the crane. Employees of the repossession service visited Builder's unprotected job site and, without notice to Builder, took the crane away. This occurred on Sunday, June 5, 2005, when no one from Builder was present and thus no dispute erupted.

On June 7, 2005, Lender mailed a notice to Builder announcing that Lender was going to sell the crane at an auction on June 21, 2005. Lender did not send separate notice of the auction to Shareholder. On the announced auction date, Lender sold the crane to Dealer, the highest bidder at the auction, for \$1 million. Shareholder knew about the auction but did not bid at it. It can be proved that if Shareholder had bid, the bid would have been \$1.2 million.

Builder asserts that: (a) Lender's actions amounted to a conversion of the crane because Lender's security interest was not perfected, and (b) Lender handled the repossession and sale improperly. Builder sues Lender for \$1.7 million, which Builder says is the fair market value of the crane.

Lender counterclaims for the \$500,000 deficiency, which it says is still owed by Builder on the loan after taking into account the proceeds received by Lender from the sale of the crane.

1. Did Lender have the right to repossess and sell the crane? Explain.
2. Did Lender's handling of the repossession, foreclosure, and sale comply with all legal requirements, and is Lender entitled to recover the \$500,000 deficiency from Builder? Explain.

Question 4

Husband and Wife married and lived together in State X. While married to Husband, Wife had an affair with Fred and gave birth to Fred's child, Child. Both Husband and Fred knew that Fred was Child's biological father.

After Child's birth, Husband and Wife separated. Wife and Child immediately moved in with Fred and stayed with him for three months. During those three months, Fred supported Wife and Child and told friends and neighbors that Child was his son.

At the end of this three-month period, Wife reconciled with Husband. She and Child left Fred's home and resumed living with Husband. Husband held Child out as his son and supported Child. Although Fred no longer supported Child, he communicated with Child approximately twice a year.

When Child was four years old, Fred filed a petition claiming paternity of Child under the law of State X. State X law provides that "a proceeding brought by an individual, other than the child, to adjudicate the parentage of a child having a presumed father must be commenced not later than two years after the birth of the child." The court dismissed Fred's petition, holding that the two-year statute of limitations barred his action.

Shortly after Fred's paternity claim was dismissed, Husband, Wife, and Child moved to another city in State X, and Fred could not locate them.

Two years later, Wife sued Husband for divorce. In her divorce action, she sought custody of Child and child support. Husband objected to Wife's child support claim on the ground that Fred, Child's biological father, should be required to pay support instead of Husband. A State X court awarded Wife custody of Child and ordered Husband to pay child support.

Shortly after the divorce was final, Fred located Wife and Child. Fred filed a visitation petition under a State X statute permitting "any person to petition for visitation at any time" and authorizing a court to grant visitation whenever "visitation serves the best interests of the child." The trial court granted Fred's petition over Wife's objection, holding, as a matter of law, that "it is always in a child's best interests to know his or her biological parents, regardless of the custodial parent's views about the child's needs."

1. Did the court violate Fred's substantive due process rights under the U.S. Constitution by dismissing his paternity petition? Explain.
2. Did the court properly order Husband to pay child support? Explain.
3. Did the court violate Wife's substantive due process rights under the U.S. Constitution by granting Fred visitation? Explain.

Question 5

Vendor recently decided to dispose of some unneeded commercial printing equipment. Two local printers named Ben and Frank entered into a written contract to buy the equipment on credit from Vendor for its appraised value or \$10,000, whichever was less.

Vendor transferred title to the equipment to Ben and Frank. In exchange, Ben and Frank gave Vendor a negotiable promissory note. The note, which they both signed, said: "We promise to pay to the order of Vendor \$10,000." Notwithstanding the terms of the note, but consistent with the contract, Vendor understood that Ben and Frank would pay only the appraised value of the equipment if the appraised value was less than \$10,000. An independent appraiser promptly determined that the equipment was worth \$7,000, a value that everyone accepts as reasonable.

Ben paid Vendor \$4,000. Vendor then gave the note as a gift to Cousin, who was having financial troubles. Vendor did not indorse the note. Cousin had no knowledge of the contractual provision relating to the appraised value.

1. What is the amount still due on the note and from whom, if anyone, may Cousin recover it? Explain.
2. May Ben recover from Frank any part of the \$4,000 already paid to Vendor? Explain.

Question 6

Drugco, a State B corporation with its principal place of business in State B, employs sales representatives and assigns them to work in exclusive geographical areas. The Drugco sales representatives provide pharmacists in their areas with product literature, pricing information, and highly confidential sheets (known as “chem sheets”) listing the chemical composition of each drug. The chem sheets ensure that the pharmacists understand how each Drugco drug interacts with other commonly prescribed drugs.

Drugco hired Claire, a resident of State A, under an employment agreement that contained a “non-compete” clause barring her, for one year following the termination of her employment with Drugco, from soliciting any pharmacists in her territory (defined as Elm, Maple, and Cherry counties of State A) or from engaging in any other activity competitive with Drugco’s business within her territory. The agreement also included a trade-secrets clause, which required Claire to return to Drugco all pricing information and chem sheets in her possession upon termination of her employment.

The laws of State A and State B provide that: (1) chemical formulas and drug pricing information are trade secrets and (2) non-compete clauses in employment agreements are valid so long as they are reasonable in duration and geographical scope.

Claire was an excellent sales representative for Drugco, and she quickly developed strong working relationships with the pharmacists in her territory. Eighteen months after she began working for Drugco, Claire tendered her resignation to Drugco and the next day began working for Medico, a competing pharmaceuticals firm. Claire, who had retained a number of Drugco chem sheets, was contacting the same pharmacists in the same geographical area that she had covered for Drugco. Moreover, she was selling Medico products that were in direct competition with Drugco products.

Drugco has properly invoked diversity jurisdiction and has sued Claire in federal district court in State A for breach of contract.

Drugco seeks to enforce the non-compete clause in Claire’s employment contract and to bar her from soliciting the pharmacists with whom she developed relationships while working for Drugco. Drugco fears that it may take more than a year to litigate the case to final judgment and wants to bar Claire from soliciting these pharmacists now. Drugco also wants to compel Claire to return immediately all Drugco chem sheets and pricing information within her possession.

What provisional remedies might Drugco seek to enforce the non-compete and trade-secrets clauses immediately and during the pendency of the lawsuit, and what is the likelihood that the court will grant each such remedy? Explain.

Question 7

Two years ago, Testator died. By her duly probated will, Testator created two separate trusts naming First Bank as the trustee of each trust.

1. Testator left \$100,000 to Friends' Trust and directed First Bank "to distribute the income annually among my friends in equal shares. At the end of ten years, this trust shall terminate and the trust corpus shall be added to the principal of Residuary Trust created under this will."
2. Testator left \$500,000 to Residuary Trust and directed First Bank "to pay the income to Carrie for life and to distribute the principal, during Carrie's life or upon her death, to any or all of Carrie's issue as she appoints by deed or will and, in the absence of such appointment, to my alma mater, University, upon Carrie's death."

Last week, First Bank received two instruments in the mail. The first was a letter from George seeking a distribution of income from Friends' Trust and correctly claiming that he was a close friend of Testator.

The second was a deed labeled "Appointment" from Carrie directing First Bank to hold the \$500,000 Residuary Trust in a new trust and to distribute income to Carrie's son, John, during his life. This deed further provided that upon John's death, First Bank should distribute the trust principal to Charity, a charitable organization, instead of to University as directed by Testator in her will.

1. Can First Bank distribute income from Friends' Trust to George? Explain.
2. Did Carrie validly appoint an interest in Residuary Trust to her son John? Explain.
3. In light of Carrie's deed of appointment, what, if any, are the interests of Charity and University in the new trust? Explain.

July 2005
Analyses

DECEDENTS' ESTATES II.K.2; II.K.4; I.B.1

ANALYSIS

- Legal Problems: will?
- (1) Can an insured change a life insurance beneficiary designation by will?
 - (2) Does a joint tenant who deposited all funds into a joint tenancy bank account retain the right to bequeath this asset to an individual who is not the surviving joint tenant?
 - (3) With respect to the state lapse statute:
 - (a) Does it apply to class gifts? If yes,
 - (b) Does it apply to class members who died before the testator executed his will?
 - (c) Does it apply to class members who predeceased the testator but were alive when his will was executed?

DISCUSSION

Summary: The life insurance proceeds should probably be distributed to Sam because a beneficiary designation cannot, in most states, be changed by will. The joint tenancy bank account should be distributed to Sam unless it is established that, in creating the joint tenancy, Testator intended to give Sam check-writing privileges instead of an ownership interest. In some states, evidence of such intention would be sufficient to void the joint tenancy. Sam's surviving child is clearly entitled to share in Testator's estate; whether Sam's deceased children also share depends on whether the state lapse statute applies to class gifts and, if so, whether it extends to class members who died before Testator's will was executed.

Point One: (10-20%) In most states, a life insurance beneficiary designation cannot be changed by will. Thus the insurance proceeds are probably payable to Sam.

In most jurisdictions, life insurance proceeds are payable to the beneficiary named in the beneficiary-designation form filed with the insurance company even if the insured names a different beneficiary in a later-executed will. This rule is typically justified as a matter of contract: as in this case, life insurance policies generally provide that policy proceeds will only be paid to a beneficiary named on an appropriate form filed with the insurance company; other possible methods of changing a beneficiary are thus viewed as being excluded by the insurance contract. See generally *Cook v. Equitable Life Assurance Society of the U.S.*, 428 N.E.2d 110 (Ind. 1981).

However, some courts have rejected the majority rule on the grounds that the requirement that a beneficiary change be evidenced by a form filed with the insurance company is for the exclusive benefit of the company. These courts permit an insured to change a beneficiary designation by will if his insurance company does not object. See, e.g., *Burkett v. Mott*, 733 P.2d 673 (Ariz. 1986). If State A has adopted this minority approach, the insurance proceeds would pass to Doris under the terms of Testator's will.

NOTE: An applicant need not describe both the majority and minority approaches to receive credit. The revocability of a life insurance beneficiary designation by will does not appear to be addressed by any state statute.

Point Two: The surviving tenant of a joint bank account is ordinarily entitled to the account
(30-40%) balance on the death of the other tenant. Some states would distribute the account
balance as part of the deceased tenant's probate estate if the evidence shows that the
deceased tenant created the joint tenancy for his own convenience and had no intent
to give the surviving tenant an ownership interest.

Ordinarily, a bank account in the name of "A and B" as joint tenants creates a right of survivorship. Upon the death of one tenant, the survivor takes the entire account balance. See Unif. Probate Code (UPC) § 6-212 (amended 2003).

Where a joint tenancy was created merely for a depositor's convenience, for example, to give the other co-tenant check-writing privileges, some courts will set aside the joint tenancy if the evidence shows that the depositor intended to convey only a power of attorney to write checks. The UPC has adopted this approach. See UPC § 6-212 cmt. Other courts invariably affirm a joint tenancy, relying on the parol evidence rule to exclude evidence of the depositor tenant's intentions. See *William M. McGovern Jr. & Sheldon F. Kurtz*, *Wills, Trusts, and Estates* § 6.3 (3d ed. 2004); *Bielecki v. Boissel*, 715 A.2d 571 (R.I. 1998). And even among courts that permit a joint tenancy to be set aside, some require clear and convincing evidence of the depositor tenant's intentions. See *Franklin v. Anna National Bank of Anna*, 488 N.E.2d 1117 (Ill. App. 1986).

In this case, there is no direct evidence that Testator intended to convey only check-writing privileges in Account #1. That Testator made all deposits and received all statements demonstrates nothing about his intentions, nor does the fact that Testator was concerned about his physical health. However, one might infer an intention to create a convenience account from Testator's belief that he could bequeath this asset by will. Thus, Sam would prevail in a state that disallows evidence of depositor intentions and in a state that requires clear and convincing evidence to overturn a joint tenancy designation; it is possible that Doris would prevail in a state that permits a joint tenancy designation to be overturned by a preponderance of the evidence.

A constructive trust theory has sometimes been utilized to award a joint tenancy bank account to the beneficiary named in the depositor tenant's will. Under a constructive trust approach, Sam would take the account but would hold the balance in the account in trust for Doris. However, the imposition of a constructive trust ordinarily requires evidence of misconduct, and there is no evidence of wrongdoing by Sam. *Id.*

Point Three: The children of Ann and Bill can share in the residuary estate only if the shares they (30-40%) would have taken had they survived Testator pass to their issue under the governing lapse statute. This determination will depend on statutory interpretation.

The State A lapse statute provides that, “if a beneficiary who is a descendant of the testator predeceases the testator, the beneficiary’s surviving issue take the share the deceased beneficiary would have taken had the beneficiary survived.” The statute is silent regarding its application to class gifts and, if it applies to class gifts, whether it also applies to persons who died before the execution of the will creating a class gift.

At common law, a gift to a class (such as a group of persons related to each other through a common ancestor) implied a survivorship condition, with the result that only those class members who survived the testator shared in the gift. Under the common law approach, only Sam’s surviving child would take the balance of Testator’s estate. Some states with lapse statutes that do not specify whether they apply to class gifts utilize the common law approach.

Most state lapse statutes, either expressly or by judicial construction, do apply to class gifts. In these states, Bill’s child would take the share that Bill would have taken had Bill survived Testator because Bill was alive when Testator’s will was executed. See McGovern & Kurtz, *supra* § 8.3 at 332. However, even when a lapse statute applies to class gifts, some states, by statute or case law, refuse to extend its reach to persons, like Ann, who predeceased both the testator and the execution of the testator’s will. The theory behind such a limitation is that, because the testator would have known that such person was dead when the testator executed his or her will, the testator would not have intended to include either the deceased person or that person’s issue in the class gift, unless the testator specifically made such a bequest in his will.

The 1990 UPC takes a different approach; anti-lapse protection is extended even to potential class members who died before the class gift was created. See UPC § 2-603(b)(2). The UPC approach is based on the view that testators would not typically want to exclude the family line of a deceased class member. Under this approach, the children of both Ann and Bill would share in Testator’s residuary estate.

CORPORATIONS II.A

ANALYSIS

- Legal Problems:
- (1) Is Peg, as promoter of a corporation to be formed, personally liable on the contract with Chem Corp.?
 - (2) Is Acme, Inc., liable on the contract with Chem Corp.?

DISCUSSION

Summary: Peg, as a promoter, is personally liable on the contract unless the parties did not intend for her to be personally liable. This is a question of fact, which an applicant could argue either way. Acme, Inc., is liable on the contract with Chem Corp. if it adopted the contract. Although Acme did not expressly adopt the contract, by accepting delivery of and paying for the chromite, it impliedly adopted the contract with Chem Corp.

Point One: (45-55%) Under the contract, Peg, as a promoter, is personally liable unless the parties, as evidenced by their words and actions, did not intend for Peg to be liable.

Peg is a “promoter.” A promoter is someone who “forms a corporation and procures for it the rights, instrumentalities and capital to enable it to conduct its business.” *Stap v. Chicago Aces Tennis Team, Inc.*, 379 N.E.2d 1298 (Ill. App. 1 Dist. 1978). See 1A William Meade Fletcher et al., *Fletcher Cyclopedica of The Law Of Private Corp.* § 189 (perm. ed., rev. vol. 2002).

Generally, a promoter who signs a contract in the name of a proposed corporation is personally liable on that contract unless the parties agree otherwise. See Revised Model Bus. Corp. Act § 2.04 (2003); *Spence v. Huffman*, 486 P.2d 211 (Ariz. App. 1971); Restatement (Second) of Agency § 326, cmt. b (1958). This is true even if the contract does not mention the promoter’s liability. Subsequent adoption by the corporation does not relieve the promoter of liability unless the third party and the corporation expressly or impliedly enter into a novation, by which they agree to relieve the promoter from personal liability on the contract. See *Malisewski v. Singer*, 598 P.2d 1014 (Ariz. App. 1979). Therefore, absent a novation, Peg ordinarily would be personally liable to Chem Corp. for the liquidated damages.

However, if a party who contracts with a promoter knows that the corporation has not yet been formed and agrees to look only to the corporation for performance, the promoter is not liable. The facts clearly state that Chem Corp. knew that Acme, Inc. had not yet been formed. The facts, however, do not indicate that Chem Corp. agreed to look only to the future corporation or that the contract expressly relieved Peg of liability. Peg signed the contract “as agent for Acme, Inc., a

corporation to be formed.” However, Peg cannot act on behalf of a nonexistent principal. See Restatement (Second) of Agency § 326 (one who acts for a nonexistent principal is himself liable on the contract). Therefore, Peg would be personally liable for the liquidated damages unless she can show that Chem Corp. did not intend to hold Peg liable. This is a fact-based analysis, which an applicant could argue either way.

Chem Corp.’s statement, “No problem. We know with whom we are dealing and what the chromite’s for. Do not waste our time. If you are serious, lock in the deal,” could be interpreted to support either argument. It could be interpreted as an indication that Chem Corp. planned only to look to the corporation for payment, in which case Peg bears no personal liability for the contract. See *Quaker Hill, Inc. v. Parr*, 364 P.2d 1056 (Colo. 1961). Alternatively, the statement “if you are serious” could be interpreted to mean “if you, Peg, are willing to be personally liable.”

The fact that Peg signed the contract as an agent for the corporation to be formed is ineffective to eliminate personal liability, as a matter of agency law. However, it does evidence her belief that she was not signing in her personal capacity and that Chem Corp. would look to the corporation, not to her, for performance on the contract.

The facts do not suggest an express novation of the contract. However, some jurisdictions imply novation upon formation and adoption by the corporation. In such a jurisdiction, Peg might argue that she is not liable because Acme adopted the contract (see Point Two below).

Point Two: Acme, Inc., is liable under the contract if it expressly or impliedly adopted it. While (45-55%) there was no express adoption, by receiving and paying for chromite for three months, Acme, Inc., implicitly adopted the contract.

A contract with a promoter is not a contract with the subsequently formed corporation. The newly formed corporation is not automatically bound by the contracts executed by its promoter prior to formation. The newly formed corporation is only liable on such a contract if: (1) a statute mandates liability, (2) charter documents mandate liability, or (3) the contract is adopted or ratified by the corporation. See *Bishop v. Parker*, 134 P.2d 180 (Utah 1943); 1A *Fletcher et al.*, supra § 207.

NOTE: Although there are technical differences between the terms “adoption” and “ratification,” many courts use them interchangeably.

Adoption of a contract can be either express or implied. Express adoption requires the unequivocal action by someone, with knowledge of all material facts, who would have had the authority to bind the corporation to this type of contract. The fact that “[n]either the board of directors nor the officers of Acme, Inc., formally reviewed or approved the contract with Chem Corp.” indicates that Acme never expressly adopted the contract.

A corporation can impliedly adopt a contract so long as it is done with knowledge of all material facts by someone who would have had the authority to bind the corporation to this type of contract. Implied adoption requires that the corporation receive some benefit or accept some service. See *Stolmeier v. Beck*, 441 N.W.2d 888 (Neb. 1989); *Fortune Furniture Mfg. Co., v. Mid-South Plastic*

Fabric Co., 310 So. 2d 725 (Miss. 1975). This test is clearly satisfied. Acme received three shipments of chromite at the contract price and paid each invoice promptly. Because Vic acted pursuant to the direction of Acme's board of directors, he had the authority to bind the corporation to this type of contract (raw materials needed for production). Vic approved the invoice after checking that the invoice price agreed with the contract price. Because Acme received a benefit after Vic checked the material facts, Acme, Inc., adopted the contract and is liable to pay the liquidated damages.

SECURED TRANSACTIONS V.A, V.B

ANALYSIS

- Legal Problems:
- (1)(a) What are the necessary requirements for attachment of an enforceable security interest and were they met in this case?
 - (1)(b) May a secured party exercise self-help repossession and foreclosure remedies even if its security interest is unperfected?
 - (2)(a) Were the repossession, foreclosure, and sale of the crane handled properly when Lender failed to give notice of any of these actions to a guarantor of the loan?
 - (2)(b) What effect does a violation of UCC Article 9's notice rules have on the debtor's liability for a deficiency?

DISCUSSION

Summary: Lender has a security interest in the crane and is entitled to enforce that interest against Builder, even though the interest is unperfected. It can enforce through self-help repossession, as it did here, so long as there is no breach of the peace. However, Lender should have given notice to both Builder and Shareholder before it sold the crane. Because of Lender's failure to give proper notice of the sale, Article 9 of the Uniform Commercial Code (UCC) creates a rebuttable presumption that a proper sale would have generated enough money to entirely pay off Builder's debt. Thus, Lender is not entitled to recover any deficiency unless it can prove that even in a proper sale the crane would have sold for less than the amount outstanding on the loan. Moreover, Lender is liable for any damages that can be shown to have resulted from its failure to give notice (though the facts of this problem do not support a damages claim).

Point One(a)(b): (35-45%) Lender's security interest is unperfected, but Lender nonetheless has the right to exercise self-help remedies after the debtor's default.

Lender can assert rights in the crane as collateral if lender has a security interest that has attached to the crane. On the facts of this problem, the requirements for attachment are satisfied. First, Builder signed an agreement granting Lender a security interest in the crane. Second, Lender gave value to Builder. Finally, Builder apparently had rights in the crane, as the facts indicate that the money was borrowed to purchase the crane and the crane was in Builder's possession. The security interest accordingly attached to the crane, and Lender has the right to enforce that interest against Builder.

Because Lender failed to file a financing statement, Lender's security interest is unperfected. See UCC § 9-310(a). However, a secured party may use Article 9's self-help remedies after default, regardless of the secured party's perfected or unperfected status. See UCC § 9-601(a). These self-help remedies include repossession and sale of the collateral and are inherent in a security interest. See UCC §§ 9-609, & 9-610. Here, Builder was clearly in default, having missed three payments in a row. Thus, Lender was entitled to repossess and sell the collateral.

Point Two(a): A secured party need not give notice or follow any established process in
(35-45%) repossessing the collateral, so long as the repossession occurs without a breach of
 the peace. However, it must give advance notice of a foreclosure sale to the
 debtor, including any guarantor, and its failure to do so renders the foreclosure
 sale improper.

Article 9's self-help remedies include repossessing the collateral. See UCC § 9-601(a)(1). No notice is required before repossession. See *Id.* The only substantial restriction on self-help repossession is that no "breach of the peace" can result. See UCC § 9-609(b)(2). In this case, the facts indicate that there was no breach of the peace. The crane was repossessed from an unsecured job site and under circumstances where there was no opposition to the repossession and no dispute of any sort. Consequently, the repossession was conducted in a manner that complied with Article 9.

However, Lender's sale of the collateral did not fully comply with Article 9. Before conducting a foreclosure sale, a secured party must send reasonable notification to certain persons. See UCC § 9-611(b). These persons include not only the debtor, whom Lender did notify here, but also "any secondary obligor." See UCC § 9-611(c)(1), (2). Shareholder, as a guarantor of the secured debt, was a secondary obligor to whom notice should have been given. See UCC § 9-102(a)(71) and comment 2.a. Accordingly, Lender's failure to notify Shareholder of the foreclosure auction was a violation of the notice provisions of Article 9.

Shareholder's actual knowledge of the auction probably does not alleviate the sending-of-notice violation. Even though Shareholder's actual knowledge provided Shareholder with the opportunity to make a bid, thus serving the purpose of generating a more competitive auction, the statute plainly requires the sending of a notice, and the statute does not provide for actual knowledge to be a substitute for the sending of notice. In part, this is to avoid disputes over what information the debtor or secondary obligor did or did not have. Indeed, the statute requires that the notification be "authenticated," precisely to overturn earlier cases holding that oral notifications were sufficient. See UCC § 9-611 and comment 5.

In all other ways, Lender properly complied with the notice requirement. First, regarding the timing of the notice to Builder, the notice was sent more than 10 days before the auction, and it therefore falls within the timing safe-harbor provided by UCC § 9-612(b). Second, regarding the contents of the notice sent to Builder, the notice specifies that the sale will be by auction on a certain date, and it therefore satisfies the requirements of UCC § 9-613(1)(C) and (E) that the notice state the method and date of disposition.

Point Two(b): When the secured party fails to comply with Article 9's foreclosure rules and the case does not involve a consumer transaction, the debtor's liability for a deficiency is wholly eliminated, except to the extent that the secured party can prove that a deficiency would have existed even in a complying foreclosure.
(10-20%)

Article 9 clarifies the rules on the availability of deficiency judgments in cases other than consumer transactions (that is, cases other than those in which the debt and collateral have personal rather than business purposes, see UCC § 9-102(a)(26)). Resolving a split of authority, Article 9 adopts the “rebuttable presumption rule” as its primary approach to evaluating deficiency claims in these situations. Under the rebuttable presumption rule, the court must rebuttably presume that, had the secured party complied with the foreclosure rules, the foreclosure sale would have generated enough money to fully discharge the secured debt. See UCC § 9-626(a)(3), (4).

In this case, the court will presume that a complying foreclosure sale would have generated \$1.5 million (the amount of the debt), thus eliminating Builder's liability for the remaining \$500,000 owed on the loan. The presumption that a compliant disposition would have generated \$1.5 million is rebuttable. If Lender can prove that even a fully complying disposition (that is, one in which proper advance notice had been sent to Shareholder) still would have resulted in a deficiency of some amount, then Builder will be liable for that amount. The burden of proof is on Lender. See UCC § 9-626(a)(4).

NOTE: Some applicants will continue the analysis by examining whether Lender is likely to be able to rebut the presumption noted above. The two sides of this debate are fairly subtle and difficult, so applicants should get credit regardless of their conclusions on this point, so long as their conclusions are well-supported.

On the one hand, Shareholder's actual advance knowledge of the auction, though irrelevant in Point Two, might be important here. Since Shareholder declined to bid despite actual knowledge, Lender can make a strong argument that Shareholder would also have declined to bid even if Lender had sent Shareholder the statutorily required notice. In other words, there is apparently no reason to think that Lender's full compliance with the notice rules would have led to a smaller deficiency, and so the full \$500,000 would be recoverable.

On the other hand, if Lender had sent notice to Shareholder and that notice had arrived earlier than the point at which Shareholder in fact gained actual knowledge, then Shareholder may have been able to react earlier and have arranged to make a substantial bid. If Builder can make a good enough case on this point to defeat Lender's burden of proof, then the deficiency to which Lender is entitled should be reduced by the amount by which Shareholder's participation would have increased the sale price of the cranes. Because Shareholder's bid would have been for up to \$1.2 million (\$200,000 more than the sale price), Lender's deficiency entitlement would be reduced by up to \$200,000, leaving Builder liable for only the remaining \$300,000.

FAMILY LAW V. B, III.F

ANALYSIS

- Legal Problems:
- (1) Are a biological father's parental rights under the U.S. Constitution violated if he has only two years after the child's birth to establish that he is the father of a married woman's child?
 - (2) Is a husband who was married to a child's mother at its birth obligated to support a child who is not biologically related to him if he has failed to challenge his paternity in a timely manner and has induced reliance on his continued parental support?
 - (3) Are a mother's parental rights violated by granting visitation to a biological father when the mother's ex-husband is the child's legal father and the court grants no deference to the mother's views on visitation?

DISCUSSION

Summary: Fred's parental rights were not violated when the State X court dismissed his untimely petition. Although unwed fathers who have established a significant relationship with their biological children have a substantive due process right entitled to protection, it is unlikely that Fred could show such a relationship given his limited contact with Child and his failure to file a paternity action when he was entitled to do so. Moreover, even if Fred were found to possess the requisite relationship because his attempts to establish contact with Child were thwarted by Wife, Fred's rights would be limited?? because Husband is presumed to be Child's father. The statute of limitations that restricts Fred's ability to challenge the paternity of Wife's husband is a more lenient provision than the conclusive presumption of legitimacy that was upheld against a substantive due process challenge in *Michael H. v. Gerald D.*, 491 U.S. 110 (1989).

Husband is obligated to pay child support for Child. He will be estopped from denying his paternity because he induced reliance on his continued support and failed to challenge his paternity within the two-year statute of limitations.

Wife's constitutionally protected parental rights were violated by granting visitation to Fred when the court gave no deference to Wife's assessment of Child's best interest.

Point One: The statute of limitations in State X’s paternity statute does not violate the substantive due process rights of Fred, the biological father, under the U.S. Constitution.
(40-50%)

Under the U.S. Constitution, an unwed biological father who has a significant relationship with his biological child has a substantive due process right in that relationship. See *Stanley v. Illinois*, 405 U.S. 645 (1972); *Quilloin v. Walcott*, 434 U.S. 246 (1978); *Caban v. Mohammed*, 441 U.S. 380 (1979); *Lehr v. Robertson*, 463 U.S. 248 (1983). But the Supreme Court has also held that it is only “[w]here an unwed father demonstrates a full commitment to the responsibilities of parenthood by ‘[coming] forward to participate in the rearing of his child,’ [that] his interest in personal contact with his child acquires substantial protection under the Due Process Clause.” *Lehr*, 463 U.S. at 249. Fred lived with Child for only three months and communicated with him only twice a year thereafter. He paid no support and did not offer to do so. He could have established his paternity when Wife moved out, but chose to wait until Child was four years old. Consequently, a court would almost certainly hold that Fred lacked the type of relationship warranting substantive due process protection.

Even if Fred could establish a significant parental relationship with Child, the fact that Husband is Child’s presumed father would limit Fred’s constitutional rights. Under the common law, if a mother was married at the time she gave birth, her husband was presumed to be her child’s father. Like State X, most U.S. jurisdictions generally retain, in statutory form, some version of the common law presumption of legitimacy. See, e.g., Uniform Parentage Act § 204(a)(1) (2002). In *Michael H. v. Gerald D.*, 491 U.S. 110 (1989), the U.S. Supreme Court upheld a California statute that precluded a biological father from bringing a paternity action when the mother of his child was married and she did not join in his paternity petition. In a plurality decision, the Court held that, because of the state’s interest in protecting the marital family and the lack of any established tradition recognizing an extramarital father-child relationship, there was no substantive due process violation even though the father wishing to establish his paternity had had a significant residential relationship with his child. If an unmarried father whose child has a presumed father can be completely foreclosed from unilaterally establishing his paternity, a two-year statute of limitations is certainly constitutional.

In the wake of the *Michael H.* opinion, many states have enacted statutes which give an unmarried father no more than two years to establish his paternity when his alleged child has a presumed father. See Cal. Fam. Code § 7541(b) (1994); Unif. Parentage Act § 607(a) cmt. (2002) (“a two-year period allows an adequate period to resolve the status of a child within the context of an intact family unit; a longer period may have severe consequences for the child in that circumstance”).

NOTE: An applicant may erroneously discuss procedural due process or equal protection. If the above points are made within the context of a procedural due process or equal protection analysis, an applicant should get credit. However, an answer concluding that a two-year statute of limitations is per se unconstitutional is incorrect. While the U.S. Supreme Court has struck down one- and two-year paternity statutes of limitation (see, e.g., *Mills v. Habluetzel*, 456 U.S. 91 (1982); *Pickett v. Brown*, 462 U.S. 1 (1983)), these cases involved the right of a child to establish a parental relationship and obtain a support order. Here, by contrast, Husband is liable for Child’s support. See Point Two, below.]

Point Two: Husband is conclusively presumed to be Child's father and is estopped from
(10-20%) denying his child support obligation.

Husband could have challenged the presumption of legitimacy within two years of Child's birth, but chose not to do so even though he knew he was not Child's biological father. Instead, he held Child out as his own and supported him. He encouraged or, at the very least, acquiesced in Wife's decision not to establish Fred's paternity within the statutory period and in her termination of Fred's visits with Child.

Even if the State X paternity statute permitted Husband to challenge his paternity, here he would be obliged to pay child support. When a nonparent consents to act as a parent and the child's interests would be harmed by termination of the parental relationship, the nonparent is estopped from disclaiming parental responsibilities. See, e.g., *W. v. W.*, 779 A.2d 716 (Conn. 2001) (stepparent); *L.S.K. v. H.A.N.*, 813 A.2d 872 (Pa. Super. 2002) (same-sex partner who encouraged mother to utilize artificial insemination to bear a child). Courts have often applied the estoppel principle when, as here, a mother's husband who knew her child was not his induced detrimental reliance on his continued willingness to act as a parent. See, e.g., *Watts v. Watts*, 337 A.2d 350 (N.H. 1975). Wife is now statutorily barred from seeking support from Fred, and Child has had no meaningful paternal relationship except with Husband. By assuming the rights of a parent, Husband also assumed the responsibilities of parenthood: he is now Child's father for all purposes.

Point Three: Wife's due process rights were probably violated when the court granted Fred
(30-40%) visitation without any deference to her determination of what is in Child's best
 interest.

The State X statute is similar to the Washington statute that was held unconstitutional, as applied, in *Troxel v. Granville*, 530 U.S. 57 (2000). In its plurality decision, the *Troxel* Court noted that the statute "effectively permits any third party seeking visitation to subject any decision by a parent concerning visitation of the parent's children to state-court review," *id.* at 67, and that the state court had given no deference to the parent's decision that visitation was not in her child's best interest. The Court held that, before "a fit parent's [visitation] decision . . . becomes subject to judicial review, the court must accord at least some special weight to the parent's own determination." *Id.* at 71.

Here, the State X court accorded Wife's decision no weight at all. Instead, it ruled, as a matter of law, that "it is always in a child's best interests to know his or her biological parents, regardless of the custodial parent's views about the child's needs."

Although some state courts have held that *Troxel* is inapplicable to visitation petitions from a nonparent who lived with the child and acted as a "de facto" parent, it is highly unlikely that Fred could establish such a relationship with Child. See, e.g., *Rubano v. DiCenzo*, 759 A.2d 959 (R.I. 2000). Fred lived with Child for only three months after Child's birth and thereafter saw Child on only a handful of occasions. Child may not even remember Fred.

Nor can *Troxel* be distinguished because Fred is a biological parent. A child has only one legal

father. See *Michael H. v. Gerald D.*, 491 U.S. 110 (1989). Fred's opportunity to establish parental rights was foreclosed with the dismissal of his paternity suit. Therefore Fred is a "third party" and has no more rights to visitation than any other "third party."

NOTE: An exceptional answer might try to distinguish *Troxel* from the case at hand based on the fact that, given Husband's attempt to disclaim paternity of Child, Child may not have a meaningful opportunity to enjoy a paternal relationship unless Fred's visitation petition is granted. It could be argued that this fact makes Fred different from the typical third-party visitation petitioner and more like the *de facto* parents to which some state high courts have refused to apply the *Troxel* standard.

It is difficult to determine how a court would rule on this argument. Fred is Child's biological parent and appears to be more interested at this point in maintaining a relationship with Child than does Husband, Child's legal father. But to award Fred visitation would perhaps undercut the policies that underlie the paternity statute of limitations. In addition, Fred's earlier relationship with Child was insubstantial.

COMMERCIAL PAPER II.G, II.H, IV.A

ANALYSIS

- Legal Problems:
- (1) What right, if any, does Cousin have to enforce the note?
 - (2) Who is liable on the note?
 - (3) How much are Ben and Frank liable for on the note?
 - (4) To what extent does Ben have a right of contribution from Frank?

DISCUSSION

Summary: Ben and Frank are jointly and severally liable as co-makers of the note, so a person entitled to enforce the note can recover the amount due from either of them. Cousin is a person entitled to enforce the note because Vendor transferred his rights to Cousin. However, Cousin is not a holder in due course both because Vendor did not indorse the note and because Cousin did not pay value for it. Accordingly, Cousin is subject to all defenses Ben and Frank might have and those defenses will reduce the amount due on the note.

Ben's payment of \$4,000 to Vendor reduces the amount Cousin can recover. The outstanding balance for which Ben and Frank are liable is \$3,000 because the contract provided that Ben and Frank would pay Vendor the lesser of \$10,000 or the amount of the appraisal, which came in at \$7,000.

Finally, Ben is entitled to contribution of \$500 from Frank because Ben paid \$500 more than his share of the debt.

NOTE: The National Conference of Commissioners on Uniform State Laws (NCCUSL) has approved amendments to articles 1 and 3 of the Uniform Commercial Code (UCC). These amendments will take effect only if and when state legislatures enact them. These amendments do not change the substance of any provisions applicable to this question. The amendments, however, alter the text and numbering of a few sections in articles 1 and 3. In the following discussion, citations in brackets refer to the amended versions of these articles. For more information on the amendments to the UCC, see NCCUSL's website at <http://www.nccusl.org>.]

Point One: Cousin is entitled to enforce the note but will be subject to any applicable defenses

(20-30%) because Cousin is not a holder in due course.

Cousin's right to recover on the note and the amount Cousin may recover depend on whether Cousin is a holder in due course of the note. To be a holder in due course, Cousin must be a holder of the note and must have taken it for value, in good faith, and without notice of any defenses to the note. UCC § 3-302(a).

On these facts, Cousin is not a holder in due course for two reasons. First, when Vendor gave the note to Cousin as a gift, Vendor did not indorse it. The lack of an indorsement left the note payable to Vendor, and Cousin did not become its holder. UCC § 1-201(20). Second, Cousin did not take the note for value. See § 3-303 (defining value).

Nonetheless, Cousin is entitled to enforce the note. Under the "shelter rule," Vendor's transfer of the note to Cousin was also a transfer of all of Vendor's rights on the note, including Vendor's rights as a holder. UCC § 3-203(b). A non-holder in possession with the rights of a holder is entitled to enforce a note. See §§ 3-301(ii); § 3-203 cmt. 2 ("If a transferee is not a holder because the transferor did not indorse, the transferee is nevertheless a person entitled to enforce the instrument under Section 3-301 if the transferor was a holder at the time of transfer."). However, the "shelter rule" only permits Cousin to assert the same rights that Vendor had to enforce the note, and Vendor held the note subject to Ben's and Frank's defenses.

Because Cousin is not a holder in due course, Cousin took the note subject to those same defenses. See § 3-305(a) & (b) and Point Three below. As explained in Point Three, Ben and Frank have defenses based on their separate agreement with Vendor and on the partial payment by Ben.

Point Two: Ben and Frank, as co-makers, are jointly and severally liable for the outstanding
(10-20%) balance of the note.

Ben and Frank are co-makers of the note because they both signed it. As a result, they are jointly and severally liable on the note. See § 3-116(a). Their joint and several liability means that a person entitled to enforce the note, such as Cousin, may recover the entire outstanding balance of the note from either Ben or Frank.

Point Three: Ben and Frank's outstanding liability on the note is \$3,000.
(25-35%)

Although the original amount of the note was \$10,000, Ben and Frank have two defenses to payment that limit their outstanding liability to \$3,000. Cousin is subject to these defenses. (See Point One above.)

The first defense comes from the sales contract with Vendor. The contract limited Ben and Frank's total liability to the appraised value of the equipment if that value was less than \$10,000. The appraised value turned out to be \$7,000, which of course is less than \$10,000. The UCC permits parties to assert defenses to payment based on separate agreements. See *id.* § 3-117 (specifying that

“the obligation of a party to an instrument to pay the instrument may be modified . . . by a separate agreement of the obligor and a person entitled to enforce the instrument, if the instrument is issued . . . as part of the same transaction giving rise to the agreement”). Accordingly, Ben and Frank’s liability before payment was limited to \$7,000.

Ben and Frank also have a defense based on Ben’s payment of \$4,000 to Vendor. As explained above (Point One), Vendor was a holder of the note at the time of payment, and was entitled to enforce it. Payment to a person entitled to enforce a note discharges liability on the note to the extent of payment. See § 3-602(a)(ii) [rev. § 3-602(a)]. The \$4,000 payment by Ben to Vendor thus reduced Ben and Frank’s liability on the note from \$7,000 to \$3,000.

Point Four: Ben has a right to contribution from Frank for \$500.
(25-35%)

A co-maker may recover from other co-makers to the extent permitted by the law of contribution. See § 3-116(b). The law of contribution says that a co-maker who pays more than his or her proportionate share of a debt may recover the excess payment from other co-makers. See Restatement of the Law of Restitution § 85 cmt. e (1937) (“If in partial satisfaction one [co-debtor] pays less than the entire amount but more than his share, he is entitled to recover from any [other co-debtor] who has not paid his share such excess up to the amount of the unpaid share of the other”); 12 Am. Jur. 2d Bills and Notes § 440 (“if one of two or more . . . makers of a note pays the note or an amount greater than his or her proportionate share, the maker is entitled to proceed against his or her comakers for contribution”).

As explained above (in Point Three), Ben and Frank’s total liability on the note before payment was \$7,000. The proportionate share of this liability for each of them was \$3,500. In paying \$4,000 to Vendor, Ben paid \$500 more than his proportionate share. Ben therefore has a right to recover \$500 from Frank.

If Ben pays additional sums to Cousin in the future, Ben also will be able to recover these additional sums from Frank under a theory of contribution. Frank can have no right to contribution from Ben because Ben already paid more than Ben’s proportionate share.

FEDERAL CIVIL PROCEDURE III

ANALYSIS

- Legal Problems:
- (1) Does the federal district court have authority immediately and during the pendency of the lawsuit to enjoin Claire from violating the non-compete provision in the contract and/or from retaining the chem sheets and pricing information?
 - (2) Is the federal district court likely to enjoin Claire from violating the non-compete clause throughout the pendency of the lawsuit?
 - (3) Is the federal district court likely to compel Claire to return to Drugco the chem sheets and pricing information throughout the pendency of the lawsuit?

DISCUSSION

Summary: The district court has the power to issue a temporary restraining order, followed by a preliminary injunction, prohibiting Claire from soliciting customers in violation of her contract with Drugco. In determining whether to grant an injunction, the court will consider Drugco's likelihood of winning the lawsuit, the possibility of irreparable injury if the injunction is not granted, the balance of hardships between the parties, and any relevant public interest factors. The court will also consider the same factors in determining whether to issue a preliminary injunction ordering Claire to return Drugco's chem sheets and pricing information. On the facts of this problem, the court is likely to grant both preliminary injunctions.

Point One: (10-20%) The district court in State A has authority under Rule 65 of the Federal Rules of Civil Procedure to issue a temporary restraining order prohibiting Claire from violating the non-compete provision in her contract, but such an order must expire within a few days and Drugco must seek a preliminary injunction.

A preliminary injunction is an equitable remedy that enjoins a person from engaging in specified behavior, or requires a party to engage in specified behavior, during the pendency of the action. A temporary restraining order (TRO) is an equitable remedy that may be issued ex parte (without notice) to prevent irreparable harm until the court has an opportunity to rule on a motion for a preliminary injunction. Rule 65 of the Federal Rules of Civil Procedure governs the issuance of both TROs and preliminary injunctions by federal district courts. Although the Federal Rules permit the issuance of a TRO without notice and on an ex parte basis, all TROs must expire within ten days, and courts generally set an earlier expiration date for TROs issued ex parte. Moreover, local rules

may require that notice be given prior to the issuance of a TRO. See generally Fed. R. Civ. P. 65(b). Rule 65(c) requires an applicant seeking either a TRO or a preliminary injunction to post bond or provide some other security in the event that a party is later “found to have been wrongfully enjoined or restrained.” Fed. R. Civ. P. 65(c).

Point Two: The district court may grant a preliminary injunction to enjoin Claire from violating
(45-55%) the non-compete provision in the contract during the pendency of the lawsuit if it
 finds that Drugco is likely to succeed on the merits of the lawsuit, that Drugco is
 likely to suffer irreparable injury if an injunction is not granted, and that the potential
 injury to Drugco is greater than any harm that Claire would suffer as a result of an
 injunction.

The substantive prerequisites for a preliminary injunction derive from traditional principles of equity jurisdiction. See 11A Charles Alan Wright et al., Federal Practice and Procedure § 2941 (2d ed. 1995). Courts generally consider four factors in deciding whether or not to grant a preliminary injunction: (1) the risk of irreparable harm to the plaintiff if the preliminary injunction is not granted; (2) the likelihood that the plaintiff will succeed on the merits; (3) the likelihood that the harm the plaintiff will suffer in the absence of preliminary injunctive relief outweighs the harm the defendant will suffer if the injunction is granted; and (4) the public interest. *Id.* The first two factors are the most important.

In assessing irreparable harm in the preliminary injunction context, courts ask whether the threatened harm would impair the court’s ability to grant an effective remedy at the conclusion of the case. 11A Wright et al., *supra* § 2948.1. Numerous courts have granted preliminary injunctions to enforce non-compete clauses in employment agreements, concluding that an employer would suffer irreparable harm if a former employee solicited its customers. See, e.g., *Safety-Kleen Sys., Inc. v. Hennkens*, 301 F.3d 931, 935-36 (8th Cir. 2002); *JAK Prods., Inc. v. Wiza*, 986 F.2d 1080, 1084 (7th Cir. 1993). “[W]hen the failure to grant preliminary relief creates the possibility of permanent loss of customers to a competitor or the loss of goodwill, the irreparable injury prong is satisfied.” *Multi-Channel TV Cable Co. v. Charlottesville Quality Cable Operating Co.*, 22 F.3d 546, 552 (4th Cir. 1994) (citation omitted).

In assessing whether the plaintiff is likely to prevail on the merits, courts most commonly ask whether the plaintiff has demonstrated “a reasonable probability of success. . . . All courts agree that plaintiff must present a *prima facie* case but need not show that he is certain to win.” 11A Wright et al., *supra* § 2948.3 (footnotes omitted). In this case, both States A and B enforce non-compete clauses as long as they are reasonable in geographical scope and duration. Since Claire’s contract with Drugco barred her from competing only within a three-county area of State A and only for one year, and since there is strong evidence that she is breaching the contract, a court is likely to conclude that Drugco will prevail on the merits.

In balancing the relative hardships, courts not only consider the injuries that the parties are likely to suffer, but also consider the likelihood of success on the merits. Thus, the stronger the showing on the merits, the less weight is given to the harm the defendant will suffer if the injunction is issued erroneously. Here, the harm to the plaintiff—the loss of customers—has already been discussed. The

potential harm to the defendantCloss of her job or at least the inability to continue to work for Medico in the same geographical area for the remainder of the yearCis likewise significant. But if the plaintiff demonstrates a substantial likelihood of success on the merits (as here), the preliminary injunction will be issued even if the harm factor favors the defendant. See 11A Wright et al., supra § 2948.3.

Finally, courts consider the public interest or policy considerations that militate in favor of or against issuance of the preliminary injunction. The decision here is not likely to have a significant impact on strangers to the litigation, so this factor is not likely to influence the outcome of the motion for preliminary injunctive relief.

On balance, it is likely that a court would issue a preliminary injunction to enjoin Claire from violating the non-compete provision in the contract during the pendency of the lawsuit. It is far less important that applicants reach this conclusion, however, than that they discuss intelligently Rule 65 and the factors that would guide the court’s analysis.

Point Three: The district court in State A is likely to issue a preliminary injunction to compel (35-45%) Claire to return the chem sheets and pricing information to Drugco during the pendency of the lawsuit.

Just as Rule 65 allows a federal district court to issue an injunction restraining Claire’s action, it also permits the court to issue an injunction compelling Claire to engage in particular acts (a “mandatory injunction”) if the four-part test for a preliminary injunction is satisfied. On our facts, the four factors favor an order compelling Claire to return the chem sheets and pricing information.

First, the chem sheets, which reveal the chemical composition of the drugs sold by Drugco, are trade secrets, and their disclosure would give rise to irreparable harm. See, e.g., *Myers v. Williams*, 819 F. Supp. 919 (D. Or. 1993). Second, pricing information is highly confidential and Drugco’s competitive position would be compromised if its pricing structure were available to a competitor. See, e.g., *Patio Enclosures, Inc. v. Herbst*, 39 Fed. Appx. 964, 968-69 (6th Cir. 2002). Such harm could not be remedied at the conclusion of the case, so preliminary relief is warranted.

Given that the chem sheets and pricing information are trade secrets under state law and given that the employment agreement required Claire to return them to Drugco upon termination of her employment, it is quite likely that Drugco will succeed on the merits of its claim to obtain the return of this data. Because neither Medico nor Claire is entitled to retain this information, the balance of hardships tips decidedly in favor of Drugco, and the public interest (as embodied in the law of States A and B) favors the preservation of trade secrets. Thus, it is likely that a court would issue a preliminary injunction to require Claire to return the chem sheets and pricing information during the pendency of the lawsuit.

NOTE: In addition to its authority to grant a preliminary injunction, the court also has authority to grant any preliminary remedy for the seizure of property that would be available under state law. See Fed. R. Civ. P. 64. In some states, for example, a pre-judgment writ of replevin to secure the return of property is available to a movant who demonstrates a superior right of possession to the property

and a likelihood of success on the merits of the underlying claim to possession. See, e.g., *Center Capital Corp. v. Burmac Metal Finishing Co.*, 2002 U.S. Dist. LEXIS 14872 (N.D. Ill. Aug. 13, 2002) (describing Illinois statute). Graders should consider awarding extra credit to applicants who note the possibility of pursuing state law replevin remedies as an alternative approach to recovering the chem sheets and pricing information.

TRUSTS AND FUTURE INTERESTS I.B.2; II.D.

ANALYSIS

- Legal Problems:
- (1) Is Friends' Trust invalid for failure to have "definite beneficiaries"?
 - (2) Can the donee of a special power of appointment exercisable in favor of the donee's issue exercise the power by appointing:
 - (a) only a life estate to a permissible object of the power?
 - (b) an interest in the property to a charitable organization?
 - (3) If a donee of a special power of appointment limited in favor of issue appoints assets subject to the power to an impermissible object of the power, who succeeds to the interest that was invalidly appointed?

DISCUSSION

Summary: A trust for "friends" is invalid because it does not have "definite beneficiaries." Thus, First Bank should make no distribution to George. Carrie's appointment of income to her son John is valid. Although Testator did not expressly state that appointments in further trust are permissible, the majority view is that, if the donee can appoint trust assets outright, the donee can also create lesser interests in permissible objects of the power. However, Charity is an impermissible object of Carrie's special power; thus Carrie made an ineffective appointment of the remainder. That interest will pass at John's death to University, the taker in default of appointment designated by Testator.

Point One: A trust for "friends" is probably invalid for want of definite beneficiaries.
(25-35%)

In order to create a valid trust, there must be intent, delivery, and acceptance. Additionally, there must be trust property, a trustee, and one or more beneficiaries. The Friends' Trust has a trustee, First Bank, and property, \$100,000. The question is whether there is a beneficiary.

A trust for indefinite beneficiaries is invalid. This rule derives from the principle that trust beneficiaries must be able to enforce the terms of the trust. See Restatement of Trusts (Third) § 46 (2003); George Gleason Bogert, Trusts § 34 (6th ed. 1984). A trust for the benefit of "friends" is a trust with indefinite beneficiaries. See Restatement of Trusts (Third) § 46, General Comment.

The Restatement of Trusts (Third) takes the position that a trust for friends may be valid if "some ascertainable group of friends . . . was intended . . . or . . . an implied term of the trust authorizes . . .

[the trustee] to determine who the friends . . . are. . . .” Id. at Illustration 1. However, there are no facts to support such a finding in this case. The disposition cannot be saved by characterizing Friends’ Trust as a power of appointment because a power that must be exercised (a so-called “imperative power”), as here, also requires definite beneficiaries. See *Clark v. Campbell*, 133 A. 166 (N.H. 1926). A discretionary power, vesting in the trustee the power both to select beneficiaries and to determine distributions, is valid and would permit a trustee to distribute to friends. But here the instrument creating Friends’ Trust did not give First Bank discretion to select beneficiaries or determine distributions.

Point Two(a): The donee of a special power of appointment exercisable in favor of the donee’s
(10-20%) issue can exercise the power by appointing only a life estate to a permissible object
 of the power. Thus, the appointment to John is valid.

The language of Residuary Trust does not specify whether appointments in further trust (rather than outright) are permissible. In light of the language in Testator’s will, applicants could argue that Carrie can appoint only principal to John. This argument, however, is rejected by the Restatement of Property and the weight of the modern case law, which take the position that, if a donee can appoint trust assets (principal) outright, then the donee can also create more limited interests unless the evidence shows that the donor intended otherwise. See Restatement of Property § 358(e) (1936); Restatement of Property (Second) § 19.3 and accompanying comments (1986). Likewise, the Restatement permits donees to appoint property in trust for objects of the power. Therefore, the appointment of only a life estate to John is valid.

NOTE: Local law may contain contrary authority.

Point Two(b): Carrie’s purported exercise of her power in favor of Charity is invalid because
(10-20%) Charity is an impermissible object of the power.

The donee of a special power of appointment (a power that excludes the donee, the donee’s creditors, and the donee’s estate as permissible objects) can only exercise the special power in favor of objects designated by the donor of the power. Here, the objects of the power were limited by Testator, the donor of the power, to Carrie’s issue. Thus, Carrie’s attempted appointment to Charity is invalid. See Restatement of Property (Second) §§ 19.3, 20.1.

Point Three: Because of Carrie’s partially ineffective exercise of the special power, the remainder
(15-25%) of the new trust at John’s death will pass to University, the taker in default under
 Testator’s will.

Carrie exercised her special power of appointment by attempting to appoint to both permissible (John) and impermissible (Charity) objects. As a general rule, “the ineffectiveness of the appointments to the non-objects does not affect the appointments to the objects. . . .” Restatement of Property (Second) § 20.1 cmt. g. Thus, the purported appointment to Charity does not invalidate the otherwise effective appointment to John in trust. (See Point Two(a).) Where a power has been ineffectively exercised, the property subject to the power not effectively exercised passes to the so-

called “taker in default of appointment” designated by the donor of the power (here Testator). Testator’s will specifies that University is the taker in default of appointment and that University takes to the extent that its interest has not been divested by an exercise of Carrie’s special power. Here, University has been divested of the life estate effectively appointed to John but not the remainder interest ineffectively appointed to Charity. Thus, upon creation of the new trust John has a life estate and University has the remainder. Charity has no interest in this trust.

2006 MEE
Questions and Analyses

2006 MEE Questions and Analyses

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Preface

This publication includes the questions and analyses from the February 2006 and July 2006 Multistate Essay Examinations. Each test includes seven questions; most jurisdictions that use the MEE select the six questions their applicants will answer. Beginning with the July 2007 MEE, jurisdictions will have their choice of nine MEE questions. For more information, see the *MEE Information Booklet* available at **www.ncbex.org**.

The model analyses to the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions for the sole purpose of assisting graders in grading the examination. These models are not an official grading guide. Some jurisdictions grade the MEE on the basis of state law, and jurisdictions are free to modify the analyses as they wish, including the suggested weights given to particular points. Grading of the MEE is the exclusive responsibility of the jurisdiction using the MEE as part of its admissions process.

The topic or topics covered by each question are listed on the first page of its accompanying analysis, followed by Roman numerals which refer to the MEE subject matter outline for that topic. For example, Question 3 on the February 2006 MEE tested Federal Civil Procedure I.A.1., subject matter jurisdiction in federal courts, I.B., jurisdiction over parties, and I.E., venue. Subject matter outlines are included in the *MEE Information Booklet* which can be found at **www.ncbex.org**.

Description of the MEE

The MEE is a series of essay questions, any of which a jurisdiction may select to include as a part of its bar examination. Applicants are expected to spend approximately thirty minutes answering each MEE question administered. The areas of law covered by the questions in the February 2007 MEE are: Agency and Partnership, Commercial Paper, Conflict of Laws, Corporations and Limited Liability Companies, Decedents' Estates, Family Law, Federal Civil Procedure, Sales, Secured Transactions, and Trusts and Future Interests. For the July 2007 MEE and later MEEs, the areas of law covered will include Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Conflict of Laws, Constitutional Law,* Contracts,* Criminal Law and Procedure,* Evidence,* Family Law, Federal Civil Procedure, Real Property,* Torts,* Trusts and Estates (Decedents' Estates; Trusts and Future Interests) and Uniform Commercial Code (Commercial Paper; Secured Transactions). Some questions may include issues in more than one area of law.

The purpose of the MEE is to test the applicant's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the applicant to demonstrate an ability to communicate effectively in writing.

*new topics

Instructions

The back cover of each test form contains the following instructions:

Do not break the seal on this booklet until you are told to begin.

You will have thirty minutes in which to write each of your answers to the MEE questions you are to answer. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise, simply draw a line through the material you wish to delete.

Read each fact situation very carefully and do not assume facts which are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show: an understanding of the facts; a recognition of the issues included; the applicable principles of law; and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Some jurisdictions instruct applicants to answer MEE questions according to the law of jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

February 2006
Questions

MEE Question 1

Seven years ago, Settlor announced at a dinner party:

“I am hereby creating the Settlor’s Family Trust and naming myself as trustee. In about three years, I expect to sell some stock and to fund this trust with the sale proceeds. I reserve the power to pay to myself trust income and principal for my support at any time. When I die, all remaining trust assets are to be distributed to my daughter, Dawn. Neither my creditors nor Dawn’s creditors can reach the trust assets to satisfy their claims, and neither of us is free to sell or otherwise transfer our respective trust interests. Please join me in a toast as I sign this cocktail napkin on which I have written the terms of the trust.”

Five years ago, Settlor’s sister-in-law, In-Law, executed a will leaving her entire \$300,000 estate to the Settlor’s Family Trust.

Four years ago, Settlor sold some stock and deposited the \$100,000 sale proceeds into an account at First Bank in the name of “Settlor, as Trustee of the Settlor’s Family Trust.”

Two months ago, In-Law died. Had In-Law died intestate, her estate would have passed to her brother, Bill. Both Settlor, as trustee of the Settlor’s Family Trust, and Bill claim In-Law’s estate.

One month ago, Victim obtained a \$75,000 tort judgment against Settlor because of injuries sustained as a result of Settlor’s negligence. Victim immediately sought to collect that judgment from the First Bank account, notwithstanding Settlor’s claims that this account was beyond the reach of his judgment creditors. Before this dispute could be resolved, Settlor died.

1. Was the Settlor’s Family Trust validly created? Explain.
2. Who is entitled to In-Law’s estate? Explain.
3. Can Victim reach the assets of the First Bank account to satisfy Victim’s claim against Settlor? Explain.

MEE Question 2

Rich, who lives in Smalltown, recently bought a sports utility vehicle (SUV) from Dealer in Capital City, which is located approximately 60 miles from Smalltown. Rich asked if Dealer would have the SUV delivered to him in Smalltown. Rich offered to pay the driver \$75. Dealer does not ordinarily deliver SUVs to its customers. Nonetheless, Dealer agreed to have Sales, a full-time salesperson employed by Dealer, deliver the SUV to Rich's house because Dealer was eager to please Rich. At the end of the normal workday, Dealer gave Sales directions to Rich's house in Smalltown. As Sales prepared to drive off in the SUV, Dealer told him, "Drive straight to Rich's house, no detours. Drive carefully and no speeding. I don't want any dents in that SUV."

On his way to Rich's house, Sales stopped to visit Friend, who was in the process of moving. Friend was distraught because the movers had not shown up. Friend asked Sales if he would like to earn \$200 by transporting "a few loads" in the SUV. Sales agreed and transported many of Friend's belongings in the SUV. Friend paid Sales \$200.

Helping Friend took several hours, so Sales was running late. In his rush to Rich's house, Sales negligently ran over Ped, who was trying to cross the street. Ped was seriously injured.

Dealer learned that Sales had used the SUV to help Friend move and demanded the \$200 Friend had paid Sales.

1. Can Ped recover from Dealer for Sales's negligence? Explain.
2. Must Sales give Dealer the \$200 he earned helping Friend move? Explain.

MEE Question 3

Defendant is a political commentator and free-lance journalist who moved from his home state of State A to State B approximately three years ago. Defendant has told his family and friends that he still considers State A “home” and intends to return “someday,” but that “I’m happy in State B for now.” Defendant votes, pays taxes, and owns property only in State B.

Defendant publishes an online newsletter called “Nothing But the Truth” that is accessible over the Internet from his website, www.NBT.com. Viewers can access www.NBT.com and download articles, but they cannot post their messages through the site. The central computer that people access when they view the website is located in State B.

The political commentary and journalism posted on the www.NBT.com website focus almost exclusively on people and events in State A—Defendant’s old stomping grounds and the region where he is best known as a political reporter. Indeed, Defendant’s website receives so many hits from people in State A that most of the advertisers on the website are State A firms seeking to attract customers who live in State A.

Plaintiff is a resident and domiciliary of State A who previously worked as a high-level State A government employee. In a recent story posted on his website, Defendant reported on rumors he had heard concerning Plaintiff’s alleged acceptance of kickbacks for the award of State A contracts.

Shortly after Defendant published this story on his website, Plaintiff was dismissed from employment with State A. Plaintiff maintains that the allegations contained in Defendant’s article about Plaintiff are patently false. Plaintiff contacted Defendant shortly after the initial publication, asking Defendant to retract the story. Defendant refused and insisted that he was protected by the First Amendment of the United States Constitution, even if the story was false, so long as he had not acted maliciously.

Plaintiff has filed a lawsuit against Defendant in the United States District Court for the District of State A. Her complaint alleges that the story published on Defendant’s website defamed Plaintiff under applicable state law. In addition, the complaint asserts that the First Amendment does not shield Defendant from the defamation claim under these circumstances. The complaint alleges facts establishing damages for Plaintiff in the amount of \$200,000. Convinced that Defendant acted maliciously, Plaintiff also seeks punitive damages in the amount of \$1,000,000. The complaint alleges that jurisdiction is proper on both federal question and diversity grounds.

The State A long-arm statute provides that the courts of State A may exercise jurisdiction over absent defendants to the “full extent permitted by the due process clause of the United States Constitution.”

In lieu of an answer to the complaint, Defendant has filed a motion to dismiss for lack of subject matter and personal jurisdiction.

MEE Question 3

1. On what basis, if any, would a federal district court have subject matter jurisdiction over the lawsuit by Plaintiff against Defendant? Explain.
2. Would the United States District Court for the District of State A have personal jurisdiction over Defendant? Explain.

MEE Question 4

Herb petitioned for divorce from Ann after a 20-year marriage. One year later, the court entered a decree of divorce based on irreconcilable differences. The court also awarded Ann a share of the marital property and \$1,000 per month in spousal maintenance until her death or remarriage.

After Herb's petition was filed but before the court issued a final decree, Herb married Betty. Betty believed that Herb's divorce was final. After the court issued a final decree, Ann married Charles. Herb then stopped paying spousal maintenance to Ann.

After her marriage to Charles, Ann learned that Charles had misrepresented the value of his stock. Charles said that he owned stock worth "millions." In fact, Charles's stock was worth only \$300,000. Ann has filed for annulment of her marriage to Charles. In a separate action, she seeks reinstatement of the spousal maintenance she was awarded in her divorce from Herb.

Betty has petitioned for divorce from Herb. Herb has filed a motion to dismiss the divorce petition on the ground that he and Betty were not lawfully married.

1. If Ann is granted an annulment of her marriage to Charles, can she obtain reinstatement of the spousal maintenance she was awarded in her divorce from Herb? Explain.
2. Can Ann obtain an annulment of her marriage to Charles based on Charles's misrepresentation of his assets? Explain.
3. Can Herb obtain dismissal of Betty's divorce petition based on the claim that he and Betty were not lawfully married? Explain.

MEE Question 5

Green Corporation (Green) was properly incorporated in State A. Green's articles of incorporation authorize 100 shares of common stock (Common) and 300 shares of Class A non-voting cumulative preferred stock (Class A Preferred). Each Class A Preferred share is entitled to a quarterly dividend of \$1. Green's articles provide that, if Green fails to pay this dividend for four consecutive quarters, each Class A Preferred share becomes entitled to one vote on all matters voted on at shareholders' meetings until all arrearages have been paid.

Deb owns all 100 shares of the Common and 100 shares of the Class A Preferred. Ed owns the remaining 200 shares of the Class A Preferred. Neither Deb nor Ed is a director or officer of Green.

Green has been experiencing financial difficulties for some time and has not paid the Class A Preferred dividends for more than four consecutive quarters. On September 2, Green's board unanimously adopted a proposal to dissolve the corporation. The board then called a special meeting of the shareholders to vote on this proposal. The notice of the special meeting indicated that a special meeting would be held at the corporation's principal office on October 15. The notice did not state the purpose of the meeting. The notice was sent to Deb. She received it on September 10.

On October 13, two days before the special meeting, Deb and Ed met for dinner. At dinner, Deb asked Ed to serve as her proxy at the special meeting because she could not attend. Ed was surprised because he had not received any notice of the special meeting from Green. Nonetheless, Ed told Deb that he would attend the meeting and vote her shares.

On October 15, at breakfast before the meeting began, Ed first learned of the proposed dissolution of Green. Ed immediately called Deb to inform her of the proposal. Deb directed Ed to vote all of her shares in favor of the proposal. Ed went to the meeting, voted Deb's shares in favor and his own shares against the proposal to dissolve Green.

1. Was the special shareholder meeting called to dissolve Green properly held? Explain.
2. Was the proposal to dissolve Green properly adopted by its shareholders? Explain.

MEE Question 6

Specialty Audio, Inc. (Specialty) manufactures high-quality stereo speakers worth about \$2,000 each. Because its business is fairly small, Specialty has no showroom or sales staff of its own.

Specialty entered into a consignment arrangement with Giant Electronics Store (Giant). Pursuant to the written consignment agreement, Specialty delivers speakers to Giant, and Giant displays those speakers on its showroom floor and sells them on behalf of Specialty. When a customer buys a pair of speakers, Giant keeps a commission as compensation for Giant's effort and pays the rest of the customer's purchase price to Specialty. At any given time, Giant has about two dozen pairs of Specialty's speakers on hand.

Specialty holds title to the speakers until they are sold. However, as far as any third party can discern, the speakers are part of Giant's own inventory. There is no indication that Specialty is the owner of the speakers. Moreover, Giant does not generally engage in the sale of goods for others and is not known by its creditors to do so.

After establishing the consignment relationship with Specialty, Giant borrowed \$1 million from Bank to open new stores. As security for its obligation to repay the money, Giant granted Bank a security interest in "all inventory, whether now owned or hereafter acquired." Bank properly perfected its security interest by filing a financing statement in the appropriate state office.

Giant defaulted on its loan from Bank. Bank peaceably repossessed all of Giant's goods, including all the Specialty speakers Giant had on display and, after providing proper notice, sold everything at a commercially reasonable sale.

1. Did Bank have the right to repossess and sell the Specialty speakers even though, under the consignment agreement, they belonged to Specialty and not to Giant? Explain.
2. What rights, if any, does Specialty have against Bank to recover the proceeds from the sale of the speakers? Explain.
3. What action might Specialty have taken to protect its interest in the speakers more completely? Explain.

MEE Question 7

Dorothy had three children, Abel, Brandon, and Carrie. Abel had two children, Grandchild 1 and Grandchild 2; Brandon had three children, Grandchild 3, Grandchild 4, and Grandchild 5; and Carrie had one child, Grandchild 6.

Following the deaths of all three of her children, Dorothy was judicially appointed the guardian of all six grandchildren. Dorothy raised all of the grandchildren in her home and loved them all equally.

Five years ago, Dorothy gave \$60,000 to Grandchild 6 to help Grandchild 6 buy a new home. The only statement Dorothy ever made regarding this payment was a contemporaneous statement to Grandchild 6: "This is for you because I love you." Dorothy made no other transfers to her grandchildren.

One year ago, Dorothy executed a valid will providing: "I give my entire estate to my heirs, said heirs to take the same shares thereof that they would have taken had I died intestate."

Three months ago, Dorothy was visiting Grandchild 1's home. While Dorothy was working in the front yard, Grandchild 1 backed a car out of the garage and, inadvertently, albeit negligently, struck Dorothy. Dorothy later died from the injuries.

Dorothy's only survivors are all six grandchildren and one great-grandchild, who is a child of Grandchild 1. Dorothy left a probate estate of \$120,000.

To whom should Dorothy's \$120,000 probate estate be distributed, and what is the amount of each person's share? Explain.

February 2006
Analyses

TRUSTS AND FUTURE INTERESTS I.B, I.C.1, I.C.4, I.E.3

ANALYSIS

- Legal Problems:
- (1) Did Settlor create a valid trust?
 - (2) Was In-Law's pour-over bequest to the Settlor's Family Trust valid?
 - (3) Did Settlor effectively shield trust assets from creditors when he created a support trust with a spendthrift clause and named himself as the sole income beneficiary?

DISCUSSION

Summary

Settlor did not create a valid trust when he made a declaration of trust because the trust lacked assets. The trust became valid when Settlor deposited funds in the First Bank account and re-manifested his intention to create a trust by opening the account in the name of Settlor, as Trustee of the Settlor's Family Trust. In-Law's pour-over bequest was valid because the trust was clearly identified in In-Law's will and its terms were incorporated in a writing that predated that will. Victim can reach trust assets in the First Bank account because the spendthrift provision is ineffective, both because the trust was self-settled and, in some states, because it would be deemed revocable.

Point One: (30-40%)

Settlor's Family Trust became a valid trust when the First Bank account was opened in the name of Settlor, as trustee. The trust had both a trustee and beneficiaries and, once the account was opened, trust assets.

A trust of personal property is valid if it has a trustee, a beneficiary, and trust property. *See, e.g.,* UNIF. TRUST CODE § 407; RESTATEMENT (THIRD) OF TRUSTS § 20 (writing not necessary to create an enforceable inter vivos trust). After Settlor made his announcement and signed the napkin memorializing his intentions, the Settlor Family Trust had a trustee, Settlor, and two named beneficiaries, Settlor and Dawn. But it lacked assets because the stock sale proceeds that Settlor declared as trust assets did not yet exist. The announcement and napkin thus evidenced nothing more than the intent to create a trust in the future, and a promise to create a trust in the future is typically unenforceable without consideration.

However, the \$100,000 deposit into the First Bank account three years later was sufficient to create a valid trust at that time. If a trust that is invalid for lack of assets is later funded, a trust arises at that time if the settlor re-manifests the intention to create the trust. By depositing \$100,000 into an account at First Bank in the name of Settlor, as Trustee of the

Settlor's Family Trust, Settlor re-manifested an intention to create a trust with the terms described in Settlor's original declaration. *See* RESTATEMENT (SECOND) OF TRUSTS §§ 26 & cmt. e, 86 cmt. c. Thus, while the trust was not valid when Settlor made his announcement, it was valid after the deposit into the First Bank account.

Point Two: (25-35%)

The pour-over bequest is valid because the trust was clearly identified in In-Law's will and the trust's terms were incorporated in a writing antedating that will.

Under the UNIFORM TESTAMENTARY ADDITIONS TO TRUST ACT and UNIFORM PROBATE CODE, a person may bequeath assets to a trust created during the testator's lifetime, by the testator or another, so long as the trust is identified in the testator's will and its terms are incorporated in a writing executed before or concurrently with the execution of the testator's will. Under these acts, such a bequest is valid even if the trust is unfunded, revocable, and amendable. *See* UNIF. TESTAMENTARY ADDITIONS TO TRUST ACT § 1(a); UNIF. PROBATE CODE § 2-511(a). In-Law clearly identified the "Settlor's Family Trust" in her will, and its terms were incorporated in a writing, the cocktail napkin, predating the execution of that will. As the acts do not require a formal document, the napkin satisfies the writing requirement. One of the uniform acts or a like statute has been enacted in *all* states. Therefore, In-law could pour her estate over to the Settlor's Family Trust.

The common law incorporation-by-reference doctrine, under which a testator may direct the distribution of his probate assets in accordance with the terms of another instrument that exists when the testator's will was executed and which is specifically referred to in the will, would also permit a court to distribute In-Law's estate in accordance with the provisions of the Settlor's Family Trust. *See* William H. McGovern & Sheldon F. Kurtz, WILLS, TRUSTS AND ESTATES § 6.2. Thus, under either the common law or modern uniform acts, Settlor, as trustee, would take In-Law's estate.

Point Three: (25-35%)

The judgment creditor can reach trust assets to the extent the assets of this self-settled trust could be reached by Settlor.

Because the Settlor's Family Trust is a self-settled trust, its spendthrift provisions are not enforceable on behalf of the trust settlor. *See* UNIF. TRUST CODE § 505 (a)(2); RESTATEMENT (THIRD) OF TRUSTS § 58(2) & cmt. e (Tent. Draft No. 2); RESTATEMENT (SECOND) OF TRUSTS § 156. The fact that Settlor's right of withdrawal is limited to funds "for my support" makes no difference; when the settlor of a trust is also a trust beneficiary, his creditors are entitled to the maximum amount that could be distributed from the trust to the settlor, even when withdrawals are discretionary or limited by a support standard.

Settlor's creditors might also argue that trust assets can be reached because the Settlor's Family Trust is revocable. Many states provide that creditors of the settlor of a revocable trust can reach trust assets in satisfaction of their claims. *See* UNIF. TRUST CODE § 505(a); RESTATEMENT (THIRD) OF TRUSTS § 25 cmt. e. Contrary to the common law, some states now

presume that a self-settled inter vivos trust is revocable. *See* UNIF. TRUST CODE § 602; RESTATEMENT (THIRD) OF TRUSTS § 63 cmt. c. In other states, the creditors might argue that Settlor's retained power to distribute income and principal to himself is effectively a power of revocation. *See* RESTATEMENT (SECOND) OF TRUSTS § 330.

[NOTE: Applicants should not receive credit for the conclusion that the spendthrift provision is invalid because the creditor is a tort victim. A few state courts have refused, on public policy grounds, to enforce spendthrift provisions against the claims of tort victims who can show gross negligence or intentional misconduct. *See, e.g., Sligh v. First Nat'l Bank*, 704 So. 2d 1020 (Miss. 1997). But the facts here do not show gross negligence or an intentional tort and only a handful of courts have adopted this position. *See* RESTATEMENT (THIRD) OF TRUSTS § 59 Reporters' Notes; UNIF. TRUST CODE § 504 cmt.]

AGENCY AND PARTNERSHIP III, IV.B

ANALYSIS

- Legal Problems:
- (1) Is Dealer vicariously liable for Sales's negligence?
 - (a) Do Dealer and Sales have a master-servant relationship?
 - (b) Was Sales acting within the scope of his employment?
 - (2) Has Sales violated his fiduciary duty to Dealer such that he must give Dealer the \$200 that Friend paid him?

DISCUSSION

Summary

Dealer is vicariously liable for Sales's negligence. Dealer and Sales have a master-servant relationship because Dealer employed Sales to perform services on behalf of Dealer, and Dealer had the right to control the physical conduct of Sales's performance. When Sales negligently injured Ped, Sales was acting within the scope of his employment as he had been assigned the task of delivering the SUV to Rich in Smalltown.

Sales, as an agent, is a fiduciary. Sales violated his fiduciary duty to Dealer by failing to obey instructions and failing to act solely for the benefit of Dealer. Sales must give all profits arising from the agency relationship to the principal. Therefore, Sales must give the \$200 to Dealer.

Point One: (5-15%)

Dealer is vicariously liable for Sales's negligence if there is a relationship between Dealer and Sales that qualifies as master and servant (see Point One(a)), and Sales was acting within the scope of his employment when he negligently injured Ped (see Point One(b)).

Masters are liable for the torts of their servants committed while acting in the scope of their employment. RESTATEMENT (SECOND) OF AGENCY § 219(1). Therefore, Dealer is vicariously liable for Sales's negligence if (a) Dealer and Sales created an agency relationship that rises to the level of master-servant, and (b) Sales was acting within the scope of his employment when he negligently injured Ped.

Point One(a): (25-35%)

Dealer and Sales created a master-servant relationship.

Agency is a fiduciary relationship “which results from the manifestation of consent by one person to another that the other shall act on his behalf and subject to his control, and the consent by the other so to act.” RESTATEMENT (SECOND) OF AGENCY § 1(1).

Sales is a full-time employee of Dealer. Although (1) Dealer did not generally deliver SUVs, (2) Sales was employed as a salesperson, not a driver, (3) delivery was made after the normal workday, and (4) Rich agreed to pay Sales \$75 for delivery, Sales was still an agent, acting on behalf of Dealer and subject to Dealer’s control, when he delivered the SUV to Rich. Sales delivered the SUV at the request of Dealer. The delivery was for the benefit of Dealer. Dealer agreed to make the delivery because Dealer “was eager to please Rich.” Sales made the delivery subject to Dealer’s control. Dealer provided directions to Rich’s house and instructions regarding the drive (“Drive straight to his house, no detours. Drive carefully and no speeding. I don’t want any dents in that SUV.”). Overall, the facts support a conclusion that an agency relationship existed between Dealer and Sales.

This agency relationship between Dealer and Sales rises to the level of master-servant. “A master is a principal who employs an agent to perform services and who controls or has a right to control the physical conduct of the [agent’s] performance.” Restatement (Second) of Agency § 2(1). This is a fact-based analysis. RESTATEMENT (SECOND) OF AGENCY § 220 specifies factors to be considered in determining whether an agent is a servant or, instead, an independent contractor. The most important factor is the extent of control that Dealer may exercise over the details of the work. *See Binsau v. Garstin*, 177 A.2d 639, 641 (Del. 1962); *Miller v. Component Homes, Inc.*, 356 N.W.2d 213, 217 (Iowa 1984). Dealer provided Sales with instructions regarding speed and route, which indicates the power to control the manner in which Sales performed the work in question.

Other factors that support a master-servant relationship include the following: Delivering SUVs is not a distinct occupation for Sales. Delivering SUVs is not work done by a specialist without supervision. Delivering SUVs does not require special skills or equipment. Further, Sales is a full-time employee of Dealer, and Dealer did not pay Sales any extra money for this work.

[NOTE: There are some factors that support an argument that Sales was acting as an independent contractor rather than servant. Delivering SUVs was not a regular part of Dealer’s business. This was an *ad hoc* assignment, not a regular part of Sales’s duties. Sales was paid separately for this work (\$75 by Rich). Further, Sales delivered the SUV after his regular hours of employment. While overall, it is likely that a court would conclude that the agency relationship between Dealer and Sales rises to the level of a master-servant relationship, an applicant should receive credit for a cogent argument either way.]

Point One(b): (25-35%)

Sales was acting in the scope of his employment when he negligently injured Ped.

For Dealer to be held vicariously liable for Sales’s negligence, the tort must have been committed within the scope of Sales’s employment. Conduct is “within the scope of employment if, but only if” it is conduct that the person was employed to perform, it occurs

substantially within the authorized time and space limits, and it is done to serve the master. RESTATEMENT (SECOND) OF AGENCY § 228. Additionally, conduct is “within the scope of employment” if it is “of the same general nature as that authorized, or incidental to the conduct authorized.” RESTATEMENT (SECOND) OF AGENCY § 229(1).

An applicant might argue that delivering the SUV was not “within the scope of employment.” Although Sales delivered the SUV to serve Dealer, Sales was employed as a salesperson. Additionally, the delivery was performed after the normal workday and in Smalltown, not Capital City, where the dealership was located.

However, scope of employment is determined by the manifestations of the master. It “includes only acts of the kind authorized, done within limits of time and space which approximate those created by the authorization.” RESTATEMENT (SECOND) OF AGENCY § 228 cmt. a. Dealer specifically authorized Sales to deliver the SUV to Smalltown after work. Therefore, this act was authorized and within the scope of employment.

While the escapade with Friend might be a “frolic” that exceeded the scope of Sales’s employment, the accident occurred after any “frolic” had ended and while Sales was completing the delivery of the SUV pursuant to Dealer’s instructions.

Point Two: (20-30%)

Sales violated his fiduciary duty to Dealer and therefore must give the \$200 to Dealer.

As an agent (*see* Point One(a) above), Sales owes a fiduciary duty to Dealer, his principal, with respect to matters within the scope of the agency. RESTATEMENT (SECOND) OF AGENCY § 13. This includes the duty to obey reasonable instructions and the duty to act solely for the benefit of the principal with respect to matters within the scope of his agency. *See* RESTATEMENT (SECOND) OF AGENCY §§ 385, 387. When Sales made a detour to help Friend move, Sales violated his duty to obey the reasonable instruction “Drive straight to his house, no detours. Drive carefully and no speeding.” By using the SUV for his own benefit, Sales also violated his duty to act solely for the benefit of Dealer as he used the SUV to make a personal profit. As a result, Sales is liable to Dealer for the \$200. *See* RESTATEMENT (SECOND) OF AGENCY §§ 403 (agent who makes a profit in violation of his duty of loyalty is liable to principal for that profit), 404 (agent who, in violation of his duty, uses principal’s assets for his own gain is subject to liability for that profit).

Further, even if an applicant were to argue that Sales had not violated his duty to Dealer, Sales would still be obligated to give Dealer the \$200. An “agent’s primary function is to make profits for the principal, and his duty to account includes accounting for any unexpected and incidental accretions whether or not received in violation of duty.” RESTATEMENT (SECOND) OF AGENCY § 388 cmt. a.

FEDERAL CIVIL PROCEDURE I.A.1, I.B, I.E

ANALYSIS

- Legal Problems:
- (1)(a) Does a federal district court have federal question jurisdiction over a claim based on the state law of defamation when the plaintiff's complaint alleges that an anticipated First Amendment defense is invalid?
 - (1)(b) Does a federal district court have diversity jurisdiction when the defendant previously resided in the same state as the plaintiff, still considers that state "home," and plans to return someday?
 - (2) Can a federal district court in State A assert personal jurisdiction over a defendant whose activities occurred outside State A when those activities included posting allegedly defamatory material concerning a State A plaintiff on a website viewable by State A residents and when the defendant knows that the website is viewed by State A residents and derives revenue as a result of that fact?

DISCUSSION

Summary

Federal question jurisdiction is not available in this case because the complaint asserts a tort claim under state law. The well-pleaded complaint rule governs here; thus the negation of the federal defense in the complaint would not create federal question jurisdiction under 28 U.S.C. § 1331.

Whether the court has diversity jurisdiction over the case depends on whether Defendant is considered to have established a domicile in State B. If he is domiciled in State B, the parties are diverse and the amount in controversy is sufficient for jurisdiction. If he is still a State A domiciliary, then diversity is defeated. The matter can be argued either way, but the facts appear to support a conclusion that Defendant's current domicile is in State B because his intent is to remain and live there for the time being.

The question of personal jurisdiction over Defendant based on his publication of an alleged defamation over the Internet asks whether Defendant had sufficient contact with State A to justify the assertion of personal jurisdiction. Under the approach of most courts, this will turn on the degree to which Defendant targeted State A readers and the State A-based Plaintiff and published the story with knowledge that it might cause harm to Plaintiff in State A. A consideration of the "fairness/reasonableness" factors would also be necessary.

Point One(a): (10-20%)

The federal district court does not have federal question jurisdiction because the complaint alleges a state law tort claim and federal issues exist only as a possible defense.

Plaintiff's complaint does not raise a federal question but, instead, asserts a tort claim under state law. According to the well-pleaded complaint rule, a plaintiff's anticipation of a federal defense in the complaint does not create federal question jurisdiction. *Louisville & Nashville R.R. Co. v. Mottley*, 211 U.S. 149 (1908). Thus, Plaintiff's allegation that Defendant has no defense under the First Amendment does not, in itself, create subject-matter jurisdiction. 28 U.S.C. § 1332(a).

Point One(b): (30-40%)

The federal district court will have subject-matter jurisdiction based on diversity of citizenship under 28 U.S.C. § 1332 only if Defendant is considered a domiciliary of State B.

The complaint states a claim well in excess of the \$75,000 jurisdictional threshold required for diversity jurisdiction. 28 U.S.C. § 1332(a). Thus, the question is whether there is complete diversity between Plaintiff and Defendant. *See Strawbridge v. Curtiss*, 7 U.S. 267 (1806) (establishing the rule of "complete diversity"). Plaintiff is a citizen of State A by virtue of her residence and domicile in State A. If Defendant is a citizen of State B, there is diversity. If Defendant is still a citizen of State A (where he lived until three years ago), then there is no diversity between Defendant and Plaintiff, and the court lacks jurisdiction.

For purposes of the diversity statute, a person is considered a citizen of the state in which he is domiciled. A person's domicile is his or her permanent home, the place where a person intends to remain indefinitely, and the place to which the person intends to return when temporarily absent. *See Mas v. Perry*, 489 F.2d 1396 (5th Cir. 1974).

Under the facts, there is a strong argument that State B has become Defendant's new domicile. He has lived there for three years; he votes, pays taxes, and owns property there. The center of his life appears to be State B, and he appears to intend to establish his permanent home there for the time being at least.

One might argue, on the other hand, that Defendant's expressed intent to return to State A someday and his statement that he views State A as his home mean that his domicile is still in State A; State B is but a temporary sojourn. While such an argument is plausible, the facts that Defendant's residence in State B has some permanence, that he treats it as his current permanent home for all purposes, and that he has no intention of returning to State A at any definite future time, make it most likely that a court would conclude that his domicile is in State B and that he has become a State B citizen for diversity purposes.

Point Two: (40-50%)

Defendant may be subject to personal jurisdiction in State A because he appears intentionally to have targeted State A readers from his State B-based website.

Under Rule 4(k)(1) of the Federal Rules of Civil Procedure, the federal district court can assert jurisdiction over a defendant who could be subjected to jurisdiction in the state courts of State A. Because of State A's long-arm statute (which is a general long-arm statute that extends to the constitutional limits), the only inquiry here is the constitutionality of the assertion of personal jurisdiction.

The Due Process Clause of the Fourteenth Amendment permits a court to exercise general personal jurisdiction over a foreign defendant when that defendant maintains substantial, continuous, and systematic contacts with the forum state. *See Helicopteros Nacionales v. Hall*, 466 U.S. 408 (1984). Where such contacts exist, the state may assert jurisdiction whether or not the claim is related to the defendant's contacts. Alternatively, a state may exercise specific personal jurisdiction where a nonresident defendant has purposefully availed itself of the benefits and protections of the forum state through minimum contacts, the claim arises out of or relates to those contacts, and the exercise of jurisdiction does not offend traditional notions of fair play and substantial justice. *International Shoe Co. v. Washington*, 326 U.S. 310 (1945).

Although the United States Supreme Court has not yet addressed the question of personal jurisdiction for Internet-based contacts, many lower courts have grappled with the question. Since websites on the Internet can be viewed everywhere, most courts have been reluctant to hold that the maintenance of a website alone is sufficient to subject the owner of the site to jurisdiction everywhere. One of the leading opinions is *Zippo Mfg. Co. v. Zippo Dot Com, Inc.*, 952 F. Supp. 1119 (W.D. Pa. 1997). *Zippo* suggested that the more interactive a website, the more likely courts should be to uphold personal jurisdiction, and that a purely passive website would not be sufficient to establish jurisdiction. Here, because Defendant's website, www.NBT.com, is passive, that is, it does not enable viewers to interact by posting their own messages, general jurisdiction based solely on the newsletter's accessibility across the United States would be unlikely.

However, Defendant did more than simply maintain a website that was accessed by State A residents. Defendant's website was largely devoted to commentary and reporting on events in State A, and Defendant knew (and profited from) the fact that many of his readers came from that area. In *Calder v. Jones*, 465 U.S. 783 (1984), the U.S. Supreme Court held that a California court could exercise jurisdiction over a Florida writer and a Florida editor of a defamatory article about a California resident's conduct in California. The Court reasoned that the defendants knew that their magazine (the *National Enquirer*) had its largest circulation in California and that the injury would be felt by the plaintiff in her home state. Under those circumstances, the defendants must have reasonably anticipated being haled into court in California when sued for the defamatory nature of their article. Lower courts have applied the logic of *Calder* to uphold jurisdiction where defamatory communications over the Internet intentionally targeted readers in the plaintiff's home state. *See Young v. New Haven Advocate*, 315 F.3d 256, 258 (4th Cir. 2002) (rejecting jurisdiction where Internet posting did not manifest intent to target audience in forum state); *Wagner v. Miskin*, 660 N.W.2d 593 (N.D. 2003) (upholding jurisdiction where Internet communication did target forum resident).

In this case, the facts likewise suggest a targeting of State A readers and a State A plaintiff in such a way that Defendant could "reasonably anticipate" being haled into State A courts to

answer a complaint by Plaintiff against him. Not only did Defendant know that State A readers were likely to view his website, but Defendant could reasonably predict that the impact of the article would be felt by Plaintiff in State A. In addition, Defendant's commentary concerned actions taken in part in State A.

Although Defendant has not engaged in any physical conduct in State A, his targeting of a State A resident, the commercial benefits he derives from serving State A readers, and the large State A readership he has all add up to a strong case for specific personal jurisdiction over Defendant for purposes of this action. State A has a strong interest in the case, Plaintiff has a strong interest in having it tried in State A, and the needs of interstate commerce would be served if defendants who cause harm through instruments of commerce (e.g., the Internet) were subject to being held to account where foreseeable harm occurs, at least if the defendant's primary business activity is directed at the forum state. *Cf. Asahi Metal Industry Co. v. Superior Court*, 480 U.S. 102 (1987) (unreasonable to exercise jurisdiction in absence of forum interest, when defendant had no commercial or other ties to forum apart from product ending up there through stream of commerce). On the other hand, the proper reach of state court jurisdiction in Internet cases has not been definitively decided, and courts may be reluctant to extend jurisdiction to reach a defendant who, like Defendant, does not actively reach out to State A readers but simply maintains a passive website to which State A readers can direct their web browsers should they so choose.

FAMILY LAW I.E, III.C, III.G, III.H

ANALYSIS

- Legal Problems:
- (1) Will a husband's alimony obligation that terminated upon his former wife's remarriage be reinstated if the former wife's new marriage is annulled?
 - (2) Can an annulment be obtained based on a spouse's misrepresentation of that spouse's assets?
 - (3) Is a marriage void if contracted after the filing of a divorce petition but before the final decree is entered?

DISCUSSION

Summary

The court is unlikely to reinstate a spousal maintenance award based on the annulment of the recipient spouse's remarriage. Although an annulment legally "erases" a marriage, the weight of modern authority does not permit reinstatement of alimony based on annulment of the marriage that terminated the alimony obligation. The court is also unlikely to grant an annulment based on misrepresentation of the value of a stock portfolio. Fraud is a basis for annulment only if it goes to the "essentials" of the marriage, and courts typically have not found asset misrepresentation to meet this test. Finally, the court is likely to declare Herb's bigamous marriage valid based on one or another curative doctrine and thus deny Herb's motion to dismiss.

Point One: (30-40%)

The court is not likely to reinstate a spousal maintenance award that terminated upon remarriage even if the remarriage is annulled.

When a marriage has been annulled, it is typically declared invalid from the date of its inception. By contrast, divorce terminates a marriage upon the date of the divorce. Because an annulment legally "erases" a marriage, most courts have held that alimony may not be granted in annulment cases without statutory authority; it seems illogical to say that a marriage never existed and then impose a duty that arises only from a valid marriage. The same logic would support reinstatement of a prior spousal maintenance award. If the award terminates on remarriage and no remarriage occurred, then it would seem that the alimony entitlement still exists.

Some of the older cases apply the "logic of annulment" doctrine and order reinstatement of prior alimony awards. But, recognizing the payor's interest in certainty as to the termination of his obligations, the vast majority of the modern cases deny petitions to revive alimony

entitlements that were terminated by an annulled marriage. *See* Homer H. Clark, THE LAW OF DOMESTIC RELATIONS IN THE UNITED STATES 144 n. 25 (2d ed. 1988) (collecting cases). Modern statutory standards typically follow this “no-revival” approach. *See, e.g.*, UNIF. MARRIAGE & DIVORCE ACT § 208 (providing that the court granting an annulment may, in the interests of justice, make the decree prospective only and thus equivalent to a divorce decree).

Some modern courts have reinstated alimony awards when the equities strongly favor the former alimony recipient. For example, in *In re Marriage of Weintraub*, 167 Cal. App. 3d 420, 213 Cal. Rptr. 159 (1985), the wife alleged that her second marriage took place only because she was abducted and physically coerced into marriage; the court held that proof of an involuntary marriage was enough to support reinstatement. Here, there are no facts that justify reinstatement: Ann chose to marry Charles; although Charles misrepresented his assets, he could have suffered financial reverses even had he told the truth. Ann is neither disabled nor infirm. Moreover, Ann could have divorced Charles and thus preserved her entitlement to obtain alimony from him. In many jurisdictions, statutory law today permits the spouse who obtains an annulment to also seek alimony.

Point Two: (20-30%)

Fraud is a basis for annulment only if it goes to the “essentials” of the marriage, and asset value is not generally considered an essential.

In most states, a marriage is voidable and may be annulled based on fraud. Even in states without explicit statutory authority, courts have often found that their inherent equity power permits the grant of a fraud-based annulment. Although some case law permits annulment based on a “material” misrepresentation, most courts have “required fraud going to the ‘essentials of the marriage.’” Krause et al., FAMILY LAW: CASES, COMMENTS, AND QUESTIONS 561 (4th ed. 1998).

The line between fraud going to the “essentials” and lesser misrepresentation is not always easy to discern. The cases are fact-based, and some jurisdictions have interpreted the materiality requirements more liberally than others. But even in “liberal” annulment states, “false representations regarding one’s character, social standing, or fortune do not constitute fraud sufficient to annul a marriage. While such factors constitute a species of fraud, they do not afford a basis for destruction of the marriage.” 4 AM. JUR. 2D, *Annulment of Marriage* § 24.

Annulment is particularly unlikely here as Charles seems to have misrepresented only the value of his stock. The case is simply one in which a spouse thought her intended was wealthier than he actually was. Such a situation could arise as a result of market forces as well as misrepresentation. Therefore, Ann is highly unlikely to obtain an annulment of her marriage to Charles based on his misrepresentation of his stock portfolio’s value.

Point Three: (30-40%)

For purposes of ascertaining the validity of a subsequent marriage, curative doctrines are likely to prevail over the argument that Herb’s marriage to Betty is void for bigamy because

it was entered prior to a final decree of divorce.

If Herb's divorce from Ann was not final at the time he married Betty, his marriage to Betty was bigamous. A bigamous marriage is void *ab initio*; it has no legal effect.

However, public policy favors finding a marriage to be valid: "the law presumes morality and not immorality." *Hynes v. McDermott*, 91 N.Y. 451 (1883). Betty might rely on either of two "marriage-saving" doctrines to avoid the conclusion that her marriage to Herb is void:

1. There is a presumption that the latest of a series of marriages is valid. The presumption is "one of the strongest presumptions known to the law" and can be rebutted only by "strong . . . evidence that the prior marriage still subsists or by cogent and conclusive evidence." Clark, *supra*, § 2.7. The presumption is designed to protect the parties' expectations; some cases thus hold that its strength increases with the lapse of time and the birth of children.

In some jurisdictions the presumption of validity could be rebutted by evidence that Herb was still married to Ann when he married Betty, even though his divorce from Ann was later granted. The fact that Herb's marriage to Betty was short might also lead a court to find the presumption rebutted. But because the presumption is essentially an equitable doctrine, many courts would estop Herb from rebutting the presumption of validity based on his "unclean hands," Betty's innocence, and the fact that Ann will not be harmed by a finding that the marriage to Betty is valid because she has been divorced from Herb for a period of time.

[NOTE: This issue can be argued either way. Applicants should receive credit for correctly stating the legal principles and making a cogent argument.]

2. Removal of the impediment (the divorce) renders the subsequent marriage valid. Under the Uniform Marriage & Divorce Act § 207(b), parties to "a marriage prohibited under this section who cohabit after removal of the impediment are lawfully married as of the date of the removal of the impediment."

Using one or the other or some combination of these marriage-saving doctrines, it is probable that the court would find that Herb was married to Betty, and therefore deny Herb's motion to dismiss the divorce petition.

CORPORATIONS V.A.1, V.A.2, VII.F

ANALYSIS

- Legal Problems:
- (1) Was the special shareholder meeting to vote on the proposal to dissolve Green properly called?
 - (2) Could the Class A Preferred shares vote at the special shareholder meeting called to vote on the proposal to dissolve Green?
 - (3) Did Deb properly appoint Ed as her proxy?
 - (4) If Ed was permitted to represent both his own and Deb's shares, was there a quorum present at the special shareholder meeting so that a vote could be taken, and, if so, what vote was necessary to approve the proposal to dissolve Green?

DISCUSSION

Summary

Green's board of directors has the authority to call a special shareholder meeting to vote on the proposal to dissolve the corporation. The corporation must provide proper notice of the meeting. The notice for this special meeting was defective for two reasons. First, the notice of the meeting failed to specify the purpose of the meeting. Second, Ed, a shareholder entitled to vote on the proposal, was not given notice. Although Ed waived his objection to failure to receive notice when he attended the meeting without objection, this objection was not waived by Deb because neither she nor her valid proxy attended the meeting. Thus, the meeting was not properly held. Even if the meeting were deemed to have been properly held, the proposal failed.

At the meeting, Ed properly voted his 200 shares of Class A Preferred because the articles of incorporation of Green provided that these shares were entitled to voting rights if the corporation failed to make dividend payments for four successive quarters and had outstanding arrearages. Ed, however, could not vote Deb's shares as Deb did not properly appoint Ed as her proxy. A valid proxy must be evidenced by a signed writing or verifiable electronic transmission.

If Ed had been permitted to represent both his own and Deb's shares at the meeting, a quorum was present and the vote could occur. However, the proposal could not be adopted. The vote would be a tie and therefore there would be no majority (the minimum requirement to approve the action).

Point One: (35-45%)

While the board of directors may call a special meeting to vote on the proposal to dissolve Green, this special meeting was not properly called for two reasons. First, the notice for the special meeting did not specify the purpose of the meeting. Second, all shareholders entitled to vote at a special shareholder meeting are entitled to notice of the meeting, and Ed was not given notice.

A proposal to dissolve the corporation adopted by the board of directors must be submitted to a shareholder vote. *See* REVISED MODEL BUSINESS CORPORATION ACT (“RMBCA”) § 14.02(a). For this purpose, the board of directors has the authority to call a special meeting. *See* RMBCA §§ 7.02(a)(1), 3.04 (board of directors will always be empowered to call a special meeting). After the Green board unanimously agreed to recommend dissolution of the corporation, they sought to call a special meeting to submit the proposal to a shareholder vote. However, as discussed below, the meeting was not properly called.

The corporation must provide proper notice of the special meeting. Furthermore, notice of the special meeting must include a full description of its purpose. RMBCA § 7.05(c). The notice providing for this meeting did not include a statement of purpose. While Deb discovered the purpose of the meeting during Ed’s phone call to her, she did not waive the notice impropriety because neither she nor her duly appointed proxy attended the meeting.

In order to properly call a meeting, the corporation also is obligated to notify all shareholders entitled to vote at the special meeting in a timely manner. RMBCA § 7.05(a) (more than 10 and less than 60 days before the meeting); *Gray v. Bloomington & N. Ry.*, 120 Ill. App. 159 (1905) (meeting held under written waiver of notice). Here, notice for this special meeting was deficient because, although Deb was given timely notice, Ed was not. Ed learned of the meeting accidentally two days prior to the meeting during his dinner conversation with Deb. However, Ed, unlike Deb, waived his objection to lack of notice by attending the meeting without objection. *See* RMBCA § 7.06(b)(1); *In re P.B. Mathiason Mfg. Co.*, 99 S.W. 502 (Mo. App. 1907); *Germer v. Triple-State Natural Gas & Oil Co.*, 54 S.E. 509 (W.Va. 1906); FLETCHER CYCLOPEDIA OF THE LAW OF PRIVATE CORPORATIONS § 1999.

[NOTE: An exceptional answer might add that under the RMBCA, even if the Class A Preferred shares were not entitled to voting rights at this time (*see* Point Two), they would still be entitled to notice of this special meeting because all shareholders are entitled to notice of a meeting to consider fundamental corporate change, including dissolution. RMBCA § 14.02(d).]

Point Two: (5-15%)

Ed was entitled to vote his 200 Class A Preferred shares because under Green’s articles of incorporation these shares were entitled to voting rights as Green had missed more than four successive dividend payments and there were arrearages outstanding.

Unless the articles of incorporation provide otherwise, each outstanding share, regardless of class, is entitled to one vote on each matter voted on at a shareholders’ meeting. *See* RMBCA § 7.21(a). Green’s articles of incorporation provided that the Class A Preferred shares were

non-voting shares unless certain conditions were fulfilled. Therefore, absent the occurrence of those certain conditions, the Class A Preferred shares were not entitled to vote on a proposed dissolution, though in an RMBCA jurisdiction they were entitled to notice of the vote. RMBCA § 14.02(d).

Under these facts, Ed was entitled to vote his 200 Class A Preferred shares because the conditions specified in the articles of incorporation had occurred. Green had missed four successive dividends and there were arrearages outstanding.

Point Three: (20-30%)

Ed could not vote Deb's shares because Deb did not properly appoint Ed as her proxy.

A shareholder may vote in person or by proxy. RMBCA § 7.22(a). Therefore, Deb was entitled to appoint Ed as her proxy to vote her shares at the special meeting when she was unable to attend. However, an oral proxy appointment is not sufficient. To appoint a valid proxy, Deb must sign an appointment form or make a verifiable electronic transmission. RMBCA § 7.22(b). In this case, Deb orally asked Ed to serve as her proxy. This appointment was insufficient.

Point Four: (30-40%)

The proposal to dissolve Green was not properly approved because the meeting was not properly held. Even if the meeting had been properly held, the votes cast in favor of dissolution were insufficient to adopt the dissolution proposal because Ed did not have a valid proxy and no majority was cast in favor of the proposal.

First, as noted above, the special meeting was not properly held as it was not called in the proper manner, and the impropriety was not effectively waived. Furthermore, even if the meeting had been properly called, there was no quorum. Unless the articles of incorporation provide otherwise, a quorum is usually a majority of votes entitled to be cast on a matter. RMBCA § 7.25(a). As no dividend had been paid in more than four consecutive quarters, the Class A Preferred shares were entitled to vote. *See* Point Two above. Therefore, there were 400 shares entitled to vote on the proposal to dissolve Green. Thus, at least 201 votes must be represented in order to establish a quorum. If Ed had been permitted to represent all of Deb's and his own shares at the special meeting, all 400 shares would have been present and the quorum satisfied. However, Ed was not entitled to vote Deb's shares. Because only 200 shares were represented at the meeting, no quorum was present, and the dissolution proposal failed.

Even if the special meeting had been properly held, the votes cast in favor of dissolution were insufficient to adopt the dissolution proposal because Ed did not have a valid proxy and no majority was cast in favor of the proposal. The vote required to approve the proposal to dissolve depends on the jurisdiction. Under the RMBCA, the proposal will be approved if, of the votes represented at a properly held meeting, more votes are cast in favor of the proposal than against. Under the older Model Business Corporation Act standard, the proposal to

dissolve must be approved by a majority of shareholders entitled to vote. Any other applicable statute would require an even greater vote in favor of the proposal.

Thus, regardless of the standard applied, the proposal to dissolve Green, even assuming the meeting was properly held and Ed had properly cast Deb's votes, would fail because, if Ed had voted Deb's 200 shares (100 Common, 100 Class A Preferred) in favor of the proposal and his 200 Class A Preferred shares against, there would have been a tie vote, and neither a super-majority or even a majority in favor of the proposal.

SECURED TRANSACTIONS II.H

ANALYSIS

- Legal Problems:
- (1) Does a secured party's collateral include property that has been consigned to the debtor?
 - (2) What is the priority between the unperfected security interest of a consignor and the perfected security interest of an inventory lender, and how does that priority affect the consignor after foreclosure?
 - (3) How can a consignor achieve priority over an inventory lender?

DISCUSSION

Summary

The effect of Specialty's consignment of the speakers to Giant and Giant's grant of a security interest in "inventory" is that Bank acquired a security interest in the speakers. It does not matter that Specialty retained title to the speakers.

Specialty's interest in the speakers is a purchase money security interest under Article 9. Because Specialty did not file a financing statement to perfect its interest, the interest is junior to Bank's.

Specialty's interest could have been made senior to Bank's security interest if Specialty had filed a financing statement when it delivered the speakers to Giant.

Point One: (35-45%)

Bank's collateral includes the Specialty speakers, even though they are not owned by Giant, because Giant is deemed to have all the rights and title in the speakers that Specialty has, and Giant gave Bank a security interest that covered the speakers.

Bank had a security interest in Giant's inventory. Ordinarily, Bank's security interest would only attach to property in which the debtor (Giant) had rights, and it would only be effective to the extent of Giant's rights. *See* UCC § 9-203(b)(2). Under the terms of the consignment arrangement, the Specialty speakers are not owned by Giant (Specialty retains title), and accordingly, Giant would not ordinarily have ownership rights in them for purposes of attachment. However, UCC § 9-319(a) provides that, for purposes of determining the rights of a creditor of a consignee (e.g., the rights of Bank in this case), the consignee of goods under a consignment governed by Article 9 is "deemed to have rights and title to the goods identical to those [of] the consignor." Thus, if this consignment is governed by Article 9,

Giant will be treated as having had the full ownership interest that Specialty had in the speakers, and Bank's security interest will attach to the speakers.

On these facts, the Giant-Specialty transaction created an Article 9 consignment. Under UCC § 9-102(a)(20), an Article 9 consignment exists where goods are delivered to a merchant (other than an auctioneer) for the purpose of sale, the merchant deals in those goods under a name other than the name of the consignor, the goods are not consumer goods immediately before their delivery to the merchant, the value of the goods exceeds \$1,000, and the transaction does not otherwise create a security interest. Here, goods valued over \$1,000 were delivered to Giant (a merchant dealing in goods of that kind under its own name). Although destined to be sold to consumers, the goods were not consumer goods before delivery; they were part of Specialty's inventory. *Compare* § 9-102(a)(23) (consumer goods are goods used or bought for "personal, family, or household purposes") *with* § 9-102(a)(48) (inventory means goods held for sale). There is no indication that the Specialty-Giant transaction otherwise created a security interest. In short, the transaction is a consignment governed by Article 9, and Giant will be treated as having right and title to the speakers for Article 9 purposes.

As a result, Bank's security interest attaches to the Specialty speakers. Now that Giant has defaulted on its debt, Bank has the right to repossess the speakers, sell them within the guidelines of Article 9, and be repaid on its debt from the proceeds. *See* UCC § 9-610(a). Specialty would have no cause of action against Bank for doing so unless Bank conducted its sale in a commercially unreasonable manner or otherwise violated the dictates of Article 9's foreclosure provisions.

[NOTE: The facts don't indicate any Article 9 violations by Bank, and the question does not invite applicants to hypothesize such violations. Points can be given for short mentions of violations that would actually result in monetary harm to Specialty, but the main thrust of answers should be that there is nothing inherently wrongful in Bank's proceeding against Specialty's property, due to the consignment and attachment rules discussed above.]

Point Two: (25-35%)

Specialty is treated as having a security interest in the speakers, and this interest is unperfected. Accordingly, Specialty's interest is junior to Bank's perfected security interest, and it is therefore extinguished upon Bank's foreclosure.

Although Specialty is the outright owner of the speakers, Article 9 treats Specialty as if its interest in the speakers were a purchase-money security interest in inventory. *See* UCC §§ 9-102(a)(72)(c), 9-103(d). So the question is whether Specialty's purchase-money security interest in inventory has priority over Bank's ordinary security interest in the speakers as inventory of Giant such that Specialty can recover the proceeds of the sale of the speakers.

On these facts, Bank's interest clearly prevails. Bank perfected its interest by filing a financing statement, whereas Specialty's interest is unperfected. Perfection of a purchase-money security interest in inventory would normally require Specialty to file a financing statement. *See* UCC § 9-310(a). There is no indication in the facts that Specialty took this

step. Indeed, there is no hint that Specialty did anything to alert third parties to its interest, and the facts say explicitly that “as far as any third party can discern, the speakers are part of Giant’s own inventory.”

A perfected security interest in inventory has priority over an unperfected security interest in the same inventory, even if the unperfected interest is a purchase-money interest. UCC § 9-322(a)(2). This priority over the inventory extends to the proceeds of that inventory. *See* UCC 9-322(b)(1). Thus, Bank has priority over Specialty as to the proceeds of the sale of the speakers.

Point Three: (25-35%)

Specialty could have achieved priority over Bank by promptly filing a financing statement against Giant.

As noted above, Article 9 treats Specialty’s ownership of the speakers as if it were a purchase-money security interest. *See* UCC § 9-103(d). Specialty could have protected its interest in the speakers had it filed a financing statement to perfect that interest. Had Specialty perfected its interest before Bank, Specialty would have achieved priority. *See* § 9-322(a)(1). Moreover, because Specialty’s interest is treated as a “purchase-money security interest in inventory,” it could have prevailed over Bank even if it perfected after Bank perfected, so long as it (1) filed a financing statement against Giant by the time Giant received the speakers, and (2) sent a notification to all holders of conflicting security interests in Giant’s inventory explaining that Specialty was keeping a purchase money security interest in the consigned speakers.

[NOTE: Had Specialty achieved priority over Bank, Bank would technically still have had the right to foreclose on Specialty’s speakers (because any junior party is free to foreclose, *see* UCC § 9-610(a)), but Specialty’s senior security interest would not be discharged by such a foreclosure. *See* UCC §§ 9-617(a)(3), 9-201(a). In other words, Specialty’s interest would attach to the proceeds of the sale. Moreover, Specialty’s interest would follow the speakers into the hands of anyone who bought them at Bank’s foreclosure sale, and Specialty would be able to take the speakers back from the buyer since they are, after all, Specialty’s property. *See* UCC § 9-601(g).]

DECEDENTS' ESTATES I.B, I.D, II.I.6

ANALYSIS

- Legal Problems:
- (1) Is the lifetime gift of \$60,000 to Grandchild 6 an advancement?
 - (2) Is Grandchild 1 barred from sharing in Dorothy's estate by a "slayer statute"?
 - (3) To whom should the probate estate be distributed and what is each person's share?

DISCUSSION

Summary

The transfer to Grandchild 6 is presumptively a gift, not an advancement. Grandchild 1 is not barred from sharing in the estate because Grandchild 1 did not feloniously take Dorothy's life. Thus, Dorothy's estate is distributable to her surviving grandchildren. The shares they take will depend on whether they take per stirpes or per capita under the applicable intestacy statute.

Point One: (30-40%)

There are potentially two reasons the gift to Grandchild 6 is not an advancement. First, the advancement doctrine is inapplicable when the decedent dies with a will. Second, under a typical advancement statute, lifetime gifts are not an advancement absent evidence that the transferor intended them as such.

The doctrine of advancements usually applies only to intestate succession. *See* William H. McGovern & Sheldon F. Kurtz, WILLS, TRUSTS AND ESTATES § 2.6 at 66 (2001). In states that follow this rule, the \$60,000 gift to Grandchild 6 would be ignored when computing the "heirs" share of Dorothy's estate. However, there is some authority for the proposition that the doctrine of advancements would apply if, as here, a will leaves property to the testator's heirs. *Id.* Furthermore, here Dorothy has expressly directed an intestate-style distribution. Whether the \$60,000 would be taken into account in determining Grandchild 6's share of Dorothy's estate would depend on the applicable advancement statute.

Under the common law, a lifetime transfer to an heir was presumptively treated as a down payment on the heir's intestate share. In most, if not all, states today, a lifetime transfer is presumed to be a gift and is ignored in computing the heir's intestate share unless there is evidence to show a contrary intent. *See generally* UNIF. PROBATE CODE § 2-109. Here, there is no evidence that Dorothy intended the \$60,000 to be an advancement.

Point Two: (15-25%)

Grandchild 1 should not be barred from sharing in Dorothy's estate under the typical slayer statute because Grandchild 1 did not act with felonious intent.

Under the typical slayer statute, an heir or beneficiary is barred from taking from the decedent if the heir or beneficiary feloniously and intentionally killed the decedent. *See, e.g.,* UNIF. PROBATE CODE § 2-803(b). The typical slayer statute excludes accidental killings even if they amount to manslaughter. Here, Grandchild 1 acted both inadvertently and negligently and thus is not barred by the slayer statute.

[NOTE: If an applicant concluded that Grandchild 1 would be barred by the slayer statute, Grandchild 1's forfeited share of Dorothy's estate would be disposed of as if Grandchild 1 predeceased Dorothy. Here, that would mean that Grandchild 1's share would pass to Great-Grandchild, Grandchild 1's child.]

Point Three: (40-50%)

Assuming both Grandchild 1 and Grandchild 6 share in Dorothy's estate, all six grandchildren take equal shares if the estate is distributed to them per capita. If the estate is distributed per stirpes, the same six grandchildren receive the entire estate but in different amounts. Under either system, Great-Grandchild takes nothing.

Dorothy's will incorporates by reference the state intestacy scheme. Thus, the distribution of the estate is determined as if Dorothy died intestate. State laws differ regarding the distribution among issue where the decedent died intestate. Many states make the initial division of shares by computing the number of the decedent's children who had either survived the decedent or who left issue who survived. In such states, the initial division would be into thirds (per stirpes system). In many other states, including Uniform Probate Code states, the initial division is made by counting the number of heirs at the generational level at which there is at least one living member (per capita per generation system). Here, that would be six, since the first level at which there are surviving descendants of Dorothy is the grandchild level.

Taking the latter (Uniform Probate Code approach) first, since no advancement was made to Grandchild 6 (*see* Point One) that grandchild shares in the estate. In addition, Grandchild 1 is not barred by the typical "slayer statute" because he did not intentionally take Dorothy's life. (*See* Point Two.) Thus, under the latter approach, all six grandchildren take equal \$20,000 shares of Dorothy's estate.

In those states that initially divide the estate into thirds, Dorothy's estate would be divided into three \$40,000 shares. Abel's two children would be entitled to split 1/3 of the estate, taking \$20,000 each. Each of Brandon's three children would be entitled to 1/3 of a \$40,000 share and Carrie's \$40,000 share would pass entirely to Grandchild 6. Great-grandchild (the child of Grandchild 1) takes nothing because Grandchild 1 is entitled to take a share of Dorothy's estate and in all states a remote descendant is excluded from inheriting when that descendant's ancestor survives.

[NOTE: The foregoing discussion assumes that no advancement was made to Grandchild 6 and that Grandchild 1 was not barred by a slayer statute. If an applicant made other assumptions, the applicant should be expected to have a different analysis to Point Three.]

July 2006
Questions

MEE Question 1

Consumer bought a sofa from Department Store for \$2,000 with her Department Store charge card. Shortly after purchasing the sofa, Consumer lost her job and could no longer afford the monthly payments on the sofa. Unwilling to lose the sofa but unable to pay the \$1,800 she knew she still owed, Consumer sent a check for \$100 to Department Store's charge card operations, conspicuously writing "Payment in Full for All Amounts Owed" on both the memo line on the front of the check and on the back of the check. Department Store received the check and deposited it. The check cleared Consumer's checking account a week later.

When her next statement from Department Store arrived, it showed a \$100 credit for the payment Consumer had made and a balance of \$1,700 still owed for the sofa. Consumer promptly wrote a letter to Department Store claiming that she no longer owed any money for the sofa. She mailed the letter at the post office and then stopped for lunch at a local restaurant. Consumer left her handbag unattended on a table in the restaurant while she visited the restroom. Consumer's handbag was stolen by Thief, a woman who closely resembles Consumer. Consumer's checkbook and driver's license were in the handbag.

As soon as she realized her handbag was missing, Consumer reported to her bank, Bank, that her checkbook had been stolen. Meanwhile, using one of Consumer's checks, Thief wrote a check for \$150 to Grocer. The signature appeared to be Consumer's but had actually been forged by Thief. Grocer gave Thief \$150 in groceries for the check in the reasonable but mistaken assumption that the check and identification Thief had shown him really belonged to Thief.

One day after Consumer notified Bank of the theft, Grocer stopped in at Bank to cash the check Grocer had received from Thief. Bank refused to cash the check. Following Bank's refusal, Grocer contacted Consumer and demanded that she pay the \$150 face amount of the check.

1. Does Consumer still owe \$1,700 to Department Store? Explain.
2. Must Consumer pay Grocer \$150? Explain.

MEE Question 2

Two years ago Nephew asked Uncle for a loan to purchase a tire dealership. Uncle agreed. Nephew decided to name the new business “Monster Tires” and to focus on selling oversized tires made by Big Rubber, Inc. Uncle agreed to accept 50% of the profits generated by Monster Tires, instead of a fixed payment, until the loan was fully repaid.

One year after Monster Tires was established, Nephew approached Friend, who had a knack for sales and marketing and was well-connected in the trucking business. Friend agreed to join Monster Tires in exchange for a one-third share of all of its profits. Friend and Nephew approached Uncle to renegotiate the repayment of the loan. Uncle was excited by Friend’s ideas to expand the business and agreed to forgive the loan and instead accept a one-third share of all of the profits of Monster Tires. Uncle also offered to let Monster Tires use one of his properties rent-free so that Monster Tires could open a second location.

Nephew and Friend both worked full time at Monster Tires. Friend began an aggressive sales campaign and spent a significant amount of time entertaining potential customers. Uncle was not involved in the day-to-day operations of Monster Tires.

Nephew, Uncle, and Friend were all present when Monster Tires opened its second store. The store was packed with potential customers, but Uncle was dismayed by the sparse inventory. When a representative of TireCo asked Uncle about placing its line of tires in the stores, Uncle agreed and signed a large purchase order for TireCo tires without consulting either Nephew or Friend.

After the store opening, Uncle, Nephew, and Friend went out to celebrate. Friend suggested that Monster Tires should buy a yacht for entertaining. Nephew agreed because he wanted to expand to a third location near the beach. Uncle vehemently protested and said: “We can’t afford a yacht. I forbid you to purchase one.” Two weeks later, Friend signed a contract with Custom Yachts to purchase a yacht for Monster Tires.

Monster Tires is now refusing to pay both TireCo and Custom Yachts.

1. Is Monster Tires liable to TireCo for the tires Uncle ordered? Explain.
2. Is Monster Tires liable to Custom Yachts for the yacht Friend ordered? Explain.
3. Are Uncle, Nephew, and Friend personally liable on either of the contracts? Explain.

MEE Question 3

In 1995, Husband and Wife duly executed a joint will which provided, in relevant part:

Each of us agrees that, when one of us dies, all of our property shall be distributed to the survivor. Furthermore, upon the death of the survivor we agree that: (1) \$1,000 shall be distributed to the person who is then the pastor of the First Avenue Church; (2) \$1,000 shall be distributed to the person named in a memorandum that the survivor shall leave in our safe deposit box at the Main Street Bank; and (3) at the survivor's death, the remainder of the survivor's property, however acquired, shall be distributed to our child, Child.

When this joint will was executed, George was the pastor of the First Avenue Church.

In 2000, Husband died. His estate of \$150,000 was distributed to Wife pursuant to the joint will.

In 2001, Wife inherited \$200,000 from her sister.

In 2002, Wife duly executed a new will providing in relevant part:

Upon my death I give: (1) \$1,000 to the person who is then the pastor of the First Avenue Church; (2) \$1,000 to the person named in a memorandum to be left in my safe deposit box; (3) \$100,000 to my child, Child; and (4) the balance of my estate to my boyfriend, John, who has provided me with loving companionship since my late husband died.

In late 2003, Wife died leaving an estate valued at \$400,000. A memorandum, dated February 2, 2003, and signed by Wife, was found in Wife's safe deposit box directing that \$1,000 be distributed to her friend, Robin. Wife was survived by John, Robin, Child, George, and Ted, who had been appointed pastor of the First Avenue Church one week before Wife died. Wife's 2002 will was duly admitted to probate.

To whom should Wife's estate be distributed? Explain.

MEE Question 4

Ten years ago, Matt Smith, a musician, and Wendy Jones, a business executive, began living together in State A. One year later, they invited fifty friends and relatives to a “ceremony of commitment” at which they publicly vowed to “treat each other as an equal owner of all worldly goods acquired during our life together” and to “forsake all others” until “death do us part.” Matt and Wendy did not obtain a marriage license. After the ceremony, Matt and Wendy consistently referred to each other as “my companion.” They also opened a joint bank account and rented a house as “Wendy Jones and Matt Smith.”

Five years ago, Matt and Wendy moved to State B, where Wendy gave birth to Child. Matt and Wendy thereafter shared child-care responsibilities and spent relatively equal amounts of time with Child.

One year ago, Wendy left Matt and married Steve in State B. After the wedding, Wendy and Child moved to Steve’s home, and Wendy began to work part time.

Since her marriage to Steve, Wendy has allowed Matt to visit Child infrequently and only at her home. Matt has tried to give Wendy money for Child’s support, but Wendy has refused to take it.

Matt has filed a petition in State B seeking to establish his paternity and obtain joint custody of Child. In a separate State B action, Matt seeks a share of Wendy’s property acquired during the time they lived together. Wendy and Steve have filed an adoption petition seeking Child’s adoption by Steve. Matt opposes this petition. All of these actions have been consolidated for trial.

Pretrial discovery has established that Matt is Child’s biological parent, that Wendy has assets worth \$300,000, all obtained from income earned while she lived with Matt, and that Matt has assets worth \$1,500. Matt and Wendy each currently earn about \$30,000 per year.

A common law marriage can be contracted in State A but not in State B.

1. May the State B court award Matt a share of Wendy’s property? Explain.
2. May the State B court grant Steve’s adoption petition over Matt’s opposition? Explain.

MEE Question 5

Until early this year, Parensco, Inc. (Parensco) owned 75% of the outstanding shares of Subco Corp. (Subco). The remaining 25% of the outstanding shares of Subco were held by numerous other shareholders. The president of Parensco is Carr, who is also a director of Parensco.

Several months ago, the president of Aster, Inc. (Aster) approached Carr, expressed an interest in acquiring control of Subco, and stated that Aster would consider a purchase price in the range of \$200 per Subco share. After Carr's conversation with Aster, the board of directors of Parensco decided to merge Subco into Parensco. The purchase price for the 25% of the outstanding shares of Subco not owned by Parensco was set at \$120 per share.

After its board duly authorized this transaction, Parensco issued the following press release:

The board of Parensco announced today that it seeks to acquire the 25% of Subco that it does not own. Subject to the approval of the Subco board, Parensco will pay \$120 for each share of Subco in a cash-out merger, for a total cost to Parensco of \$200 million.

Shortly after this press release was issued, the board of directors of Subco (Subco board), consisting solely of officers and directors of Parensco, but not including Carr, met to consider the merger offer. At the meeting, the Subco board heard a brief presentation from Carr and reviewed a report from Banker, an investment banker. Banker's report advised that, after undertaking a review of Subco, a fair valuation of Subco was \$800 million and the price of \$120 per share was generous for a minority interest in the corporation. Neither the Subco board nor Banker was aware of the discussion between Carr and Aster. After hearing Carr's presentation and reviewing Banker's report, the Subco board voted to approve the merger after a brief discussion and without any further investigation.

Parensco and Subco then issued a proxy statement to the Subco shareholders, which was complete and accurate except for its failure to mention the Aster proposal.

The merger was approved by a vote of 90% of the outstanding Subco shares, consisting of the 75% of the outstanding shares held by Parensco and 15% of the outstanding shares held by minority shareholders. The merger was then consummated and Parensco sent checks to the Subco shareholders in payment for their stock. A few months later, Parensco announced the sale for \$3 billion of the division of its business consisting almost exclusively of assets acquired in the Subco merger.

1. Did Parensco breach any of its fiduciary duties by failing to disclose the Aster proposal to the minority shareholders of Subco? Explain.
2. Did the Subco board breach its duty of care in approving the merger? Explain.
3. Did Parensco breach any duty to the minority shareholders of Subco by offering them only \$120 per share? Explain.

MEE Question 6

Pat, a State A resident, was driving in State B when her car was struck by a truck driven by Driver. A sign on the truck's door read "Smith Brothers Transport Co." The police accident report correctly listed Driver's name and license number, but mistakenly identified the truck's owner as Smith Brothers Trucking Company, Inc., instead of the correct owner, Smith Brothers Transport Company, Inc. Smith Brothers Trucking and Smith Brothers Transport are both owned and operated by Robert and William Smith. The two companies share office space. The Smith brothers are careful, however, to maintain the two corporations as separate and distinct legal entities, following all legal requirements to avoid any alter ego problems. Both companies are incorporated in and have their principal places of business in State B. Both companies identify Robert Smith as agent for service of process.

Two days before the deadline for filing suit under the applicable statute of limitations, Pat filed a proper diversity action in federal court in State B, alleging damages exceeding \$75,000 against both Driver and Smith Brothers Trucking (the incorrect defendant). The summons and complaint were promptly served on Robert Smith, as agent for Smith Brothers Trucking.

Five days after filing her complaint and before any responsive pleading had been served, Pat's attorney realized that she had incorrectly named Smith Brothers Trucking as defendant. She promptly amended her complaint to name Smith Brothers Transport as defendant and served that amended complaint and an amended summons on Robert Smith, as agent for Smith Brothers Transport.

Two days later, Smith Brothers Transport moved to dismiss the amended complaint on the ground that the applicable statute of limitations had run before the amended complaint was filed. The court denied this motion and refused Smith Brothers Transport's request for certification of the matter as appropriate for an immediate appeal.

Following the filing of responsive pleadings, the judge directed the attorneys for all parties to appear before her for a pretrial conference to discuss the possibility of settlement. The attorneys for Pat and Smith Brothers Transport appeared, but the attorney for defendant Driver did not appear. Instead, Driver's attorney left a message for the judge, stating that he would not appear because Driver was not prepared to engage in settlement discussions.

The judge noted Driver's attorney's nonappearance and conducted the pretrial conference between the attorneys representing Pat and Smith Brothers Transport. The judge also ordered Driver's attorney to appear before her to explain why she should not impose sanctions on Driver for his attorney's non-attendance at the pretrial conference. Driver's attorney appeared and argued that he did not attend the pretrial conference because his client had no intention of negotiating a settlement and had directed him (the attorney) not to "waste my money" by attending. The judge, angry at this apparent disregard of her authority, ordered that Driver's answer be stricken and that a post-answer default judgment be entered against Driver.

1. Did the trial court err in refusing to dismiss the amended complaint against Smith Brothers Transport? Explain.

MEE Question 6

2. May Smith Brothers Transport immediately appeal the denial of its motion to dismiss? Explain.
3. Did the trial court err in striking Driver's answer and ordering the entry of a default judgment as a sanction for the failure of Driver's attorney to participate in a pretrial conference? Explain.

MEE Question 7

Joe purchased a boat for use by his family from Dealer. Dealer extended credit for the purchase and retained a security interest in the boat as collateral for payment of the balance due. Joe failed to make a number of the payments, and, on May 1, Dealer peacefully repossessed the boat as Dealer was entitled to do under the UCC.

On May 3, Dealer mailed Joe a letter that stated the following: the balance due on the boat was \$10,000; Dealer had credited Joe with \$7,500, Dealer's good faith estimate of the boat's value, leaving a deficiency balance due of \$2,500; Dealer had disposed of the boat by purchasing it for use as a rental boat in Dealer's marina; and Dealer had saved Joe money by disposing of the boat in this way because, if Dealer had publicized the availability of the boat for sale to third parties, Joe would have had to pay the additional cost of the publicity. The letter also demanded that Joe pay the \$2,500 deficiency.

This letter was the only communication between Dealer and Joe after the peaceful repossession of the boat.

Used boats are typically sold through privately negotiated sales or in occasional dealer auctions. There is no recognized market on which they are customarily sold. Moreover, used boats are not subject to standardized price quotations. Quoted pricing is widely variable, with used boats of the same age and model being subject to different prices depending on their condition and features. Sale prices are also heavily influenced by the negotiating skills of the parties to the transaction. Nonetheless, the \$7,500 value that Dealer placed on Joe's boat was in the middle of the range of prices for which used boats of that age and model have sold in the area over the past year.

1. Did Dealer properly dispose of the collateral under the UCC? Explain.
2. On these facts, what are Joe's rights, remedies, and obligations under the UCC? Explain.

July 2006
Analyses

COMMERCIAL PAPER IV.H, V.A, V.C

ANALYSIS

- Legal Problems:
- (1) Was Consumer's attempt at an accord and satisfaction effective?
 - (2)
 - (a) Was Thief's forgery of Consumer's signature on the check effective as Consumer's signature?
 - (b) Did Consumer act negligently in leaving her handbag unattended on a table in a restaurant and thereby contribute to the forgery of her signature?
 - (c) If Consumer was negligent, could Grocer bring a claim against Consumer for \$150 following the bank's dishonor of the check?

DISCUSSION

Summary

Consumer's attempted accord and satisfaction was ineffective because Consumer acted in bad faith in attempting to avoid a debt about which there was no dispute. As to the forged check, Consumer probably has no liability because she never signed it. She would be liable on the check only if it were concluded that she was sufficiently negligent in leaving her handbag unattended on the restaurant table so that she should be estopped from denying the validity of the signature.

[NOTE: Although a bank is involved in the fact pattern, this question does not raise any questions under UCC Article 4. The check payable to Grocer was presented for payment over the counter and dishonored immediately, so there was no "collection" of the check. Article 4 is not included in the commercial paper specifications for the MEE, and references to UCC Article 4 in answers to this question are not on point.]

Point One: (30-40%)

Consumer's attempt at an accord and satisfaction is not effective because there is no bona fide dispute about the amount owed.

A person tendering an instrument in payment of a claim may use the instrument to resolve a dispute surrounding the claim by an accord and satisfaction. UCC ' 3-311. If there is a proper accord and satisfaction, then the claim is discharged. To achieve an accord and satisfaction, the following requirements must be met: (i) the person against whom the claim is asserted must in good faith tender an instrument to the claimant as full satisfaction of the claim; (ii) the claim must have been unliquidated or subject to a bona fide dispute; (iii) the instrument must contain a

conspicuous written statement to the effect that it is tendered in full satisfaction of the claim; and (iv) the claimant must obtain payment of the instrument. UCC § 3-311(a) & (b).

In this case, requirements (iii) and (iv) are clearly satisfied. Department Store obtained payment on the instrument when it cleared Consumer's account. Also, Consumer clearly marked the check "Payment in Full for All Amounts Owed," which is a conspicuous statement to the effect that the instrument is tendered in full satisfaction of the claim. UCC § 3-311(b).

Nonetheless, there is no accord and satisfaction because neither requirement (i) nor (ii) is met. First, Consumer did not act in good faith in tendering the full payment check. She wanted to keep the sofa without actually paying for it. There are no facts to suggest that she thought she didn't actually owe the money to Department Store. Her attempted "accord and satisfaction" was a bad faith effort to avoid a proper debt, not a good faith effort to resolve a dispute. For the same reason, the second requirement is not met. There was no bona fide dispute about the amount owed. There is no evidence that the sofa was defective or that Consumer thought the amount stated on her monthly statement was incorrect for any reason. UCC § 3-311(a).

[NOTE: Article 3 contains a special rule allowing organizational creditors like Department Store to avoid inadvertent accord and satisfaction by requiring their debtors to send accord and satisfaction checks to an address other than the one used to collect routine payments. *See* UCC § 3-311(c). Some examinees may suggest that Department Store could raise this as an issue, but there are no facts in the question to indicate that the defense is available. Moreover, it is clear there was no sufficient accord and satisfaction in any event.]

Point Two(a): (30-40%)

Thief's signature is not effective as Consumer's signature because it was made without Consumer's authorization, so it is effective only as Thief's signature.

The general rule in Article 3 is that no one is liable on an instrument unless that person signed the instrument or authorized someone to sign on his or her behalf. UCC § 3-401(a). There is no evidence that Consumer authorized Thief to sign her check. The signature on the check will be effective as Thief's signature, not Consumer's. *See* UCC § 3-403. Accordingly, Consumer will not be liable on the check unless she is precluded from proving that the signature is a forgery. (*See* Point Two(b).)

Point Two(b): (15-25%)

Consumer's carelessness in leaving her unattended handbag with her checkbook in it on a table in a restaurant probably would not preclude her from raising a claim of forgery in defense of Grocer's attempt to enforce the check.

UCC § 3-406 provides that anyone whose "failure to exercise ordinary care substantially contributes" to the making of a forged signature on an instrument is precluded from asserting the forgery against a person who, in good faith, takes the instrument for value.

It is unlikely that Consumer's carelessness in leaving her handbag unattended on her table at the restaurant would preclude her from asserting that her signature had been forged. First, the comments to § 3-406 suggest that the preclusion rule in that section is primarily aimed at behavior that makes it relatively easy for a bad actor to commit the physical act of forgery, such as leaving the signature stamp readily available to an employee who is not authorized to endorse a check. To justify preclusion, negligence must "substantially contribute" to the "making of" the forgery

Section 3-406 has not been interpreted to impose any special duty on individuals to guard their checkbooks from theft by forgers. Even if Consumer were deemed to have been negligent in leaving her handbag unattended, a court is not likely to view that as the sort of negligence that satisfies the requirement of § 3-406 that the negligent act "substantially contribute" to the "making of a forged signature."

In addition, there is a good argument that Consumer's carelessness does not rise to the level of a "failure to exercise ordinary care." Thief's behavior in snatching Consumer's handbag was unlawful, and Consumer is not obliged by Article 3 to constantly be on the alert for any kind of unlawful behavior that might deprive her of possession of her checkbook. There is nothing in the fact pattern to indicate that this was a particularly dangerous neighborhood or that Consumer should have known there was a significant risk her handbag would be stolen.

[NOTE: It is more important that the examinees recognize and discuss the two elements of the § 3-406 preclusion rule ("substantially contributes . . . to the making of a forged signature" and "failure to exercise ordinary care") than that they reach the same conclusion as does this analysis. Credit should be given to an answer that favors precluding a forgery defense if the answer displays an understanding of the basic rule.]

Point Two(c): (5-15%)

If Consumer failed to exercise ordinary care and that failure contributed to the making of the forgery, then Grocer has a claim against Consumer for \$150 because Bank dishonored the check when Grocer presented it.

If Consumer is found to have been negligent in having left her handbag where it could be stolen, and if that negligence substantially contributed to the making of the forgery, then she would be precluded from asserting the forgery of her signature as drawer as a defense to a claim by Grocer for \$150. UCC § 3-406. If Consumer is precluded from asserting the forgery, then the signature is treated as her signature and she is the drawer of the check. As the drawer, she would be obliged to pay the amount of the check to a person entitled to enforce it if the check was dishonored. UCC § 3-414(b). Because Grocer is the payee of the check, Grocer is entitled to enforce the instrument. UCC § 3-301. The check was dishonored by Bank. UCC § 3-502. Thus, Consumer would be liable to Grocer for the amount of the check if the forged signature were treated as Consumer's signature.

AGENCY AND PARTNERSHIP II, V.A, VI

ANALYSIS

- Legal Problems:
- (1) (a) Is Uncle a co-owner of a business for profit and therefore a partner of Monster Tires?
 - (b) Did Uncle have authority to bind Monster Tires when he ordered tires from TireCo?
 - (2) Did Friend have authority to bind Monster Tires when he purchased the yacht?
 - (3) Are the partners personally liable for the obligations of the partnership?

DISCUSSION

Summary

Monster Tires is liable to TireCo for the tires Uncle ordered. Uncle is a partner of Monster Tires because he is a co-owner of a business for profit. As a partner, Uncle had at least apparent authority to bind the partnership to transactions in the ordinary course of business. Monster Tires is not liable to Custom Yachts for the yacht Friend ordered. Because the purchase of the yacht was not in the ordinary course of business of the partnership, *all* partners must authorize the purchase for it to become an obligation of the partnership. The partners are personally liable on the TireCo contract because partners in a general partnership are jointly and severally liable for all partnership obligations. Only Friend is personally liable on the Custom Yachts contract.

Point One(a): (20-30%)

Uncle did not become a partner at the time he originally lent Nephew money, but he later became a partner when he agreed to accept a one-third share of all the profits.

A partnership is defined as an association of two or more persons to carry on as co-owners of a business for profit whether or not the persons intend to form a partnership. REVISED UNIF. PARTNERSHIP ACT (RUPA) § 202(a). Uncle originally loaned money to Nephew so Nephew could buy the tire dealership. Loaning money to Nephew does not make Uncle a partner, nor does the fact that Nephew repaid the loan on the basis of 50% of the profits of the business. RUPA § 202(c)(3) (a person who shares profits is presumed to be a partner “unless the profits were received in payment . . . of a debt . . . or of interest or other charge on a loan”).

Uncle’s status changed, however, when Uncle agreed to forgive the loan in return for a one-third share of the profits. Now Uncle falls under the partnership presumption and Uncle is a partner.

This conclusion is strengthened by the fact that Uncle at the same time also agreed to provide rent-free space to the business, something a co-owner might do for a business.

[NOTE: Better applicants should recognize that Uncle and Nephew did not initially create a partnership because Uncle did not agree to participate in a business for profit.]

Point One(b): (20-30%)

As a partner, Uncle is an agent of the partnership. He can bind the partnership to the contract to buy tires from TireCo because this is the kind of business carried on by the partnership.

Every partner is an agent of the partnership for the purposes of its business. RUPA § 301(1). If Uncle was a partner at the time of the second store opening, his act of ordering the tires bound the partnership because it was an act apparently for carrying on the ordinary course of partnership business. As a partner, Uncle had at least apparent authority to place orders with Big Rubber, Inc., TireCo, or another manufacturer. *See id.* This would be so even if Uncle did not usually order tires and, indeed, even if he was not ever involved in the day-to-day operations of the business. While it does not appear that Uncle had actual authority from his other two partners to order the tires, he could still bind the partnership unless the TireCo representative knew or had received notification prior to the time Uncle placed the order that Uncle lacked authority to do so. *Id.* Therefore, Monster Tires is liable to TireCo.

Point Two: (20-30%)

Monster Tires is not liable to Custom Yachts because Friend had no authority to purchase the yacht.

Although Friend was a partner at the time he ordered the yacht, this purchase is not apparently for carrying on the ordinary course of the tire dealership business. This is so, even though Friend regularly entertains in the course of business, because the purchase of a yacht is an extraordinary transaction. Friend therefore binds the partnership only if his act was authorized by all the other partners. RUPA § 301(2). The facts indicate that Nephew and Friend agreed that Friend should purchase the yacht, but that Uncle was opposed to buying it. Because an act outside the ordinary course of business of a partnership may be undertaken only with the consent of all of the partners, RUPA § 401(j), Friend had no actual authority to buy the yacht.

Friend also did not have apparent authority to buy the yacht because Custom Yachts could not reasonably believe that buying a yacht was in the ordinary course of business of a tire dealership. Therefore, Monster Tires does not have to pay Custom Yachts.

[NOTE: Applicants who fail to see that the purpose of a yacht is not in the ordinary course of the partnership's business could conclude that Friend had actual, or apparent, authority to purchase the yacht and bind the partnership.]

Point Three: (10-15%)

Uncle, Nephew, and Friend are jointly and severally liable on the contract with TireCo because that contract is an obligation of the partnership, but only Friend is liable on the Custom Yachts contract.

All partners are jointly and severally liable for all obligations of the partnership. RUPA § 306(a). The association of Uncle, Nephew, and Friend is a general partnership because the partners took no steps to create a limited partnership. The obligation to TireCo is one that occurred in the ordinary course of business. Therefore, Uncle, Nephew, and Friend are each personally liable to TireCo. However, in order to recover from them individually, TireCo must secure a judgment against both the partnership and the named partners. Furthermore, TireCo must first seek recovery from the assets of the partnership before it can attempt to levy execution against individual partners. RUPA § 307.

Only Friend is liable on the Custom Yachts contract because Friend had no authority to purchase the yacht for the partnership (*See* Point Two). Under agency law, when an agent acts without authority, a third party (here, Custom Yachts) can recover from the agent. *See* RESTATEMENT (SECOND) OF AGENCY §§ 329-30.

DECEDENTS' ESTATES II.E, II.H

ANALYSIS

- Legal Problems:
- (1) Did Husband and Wife have a contractual will such that Child is entitled to receive the portion of Wife's estate bequeathed to Child under that joint will?
 - (2) Does either the doctrine of facts of independent significance, or the rule that wills "speak at the time of death," apply to save the bequest in the 1995 will to the pastor?
 - (3) Is Robin entitled to the \$1,000 bequest notwithstanding that her status as a beneficiary was evidenced by an unattested writing?

DISCUSSION

Summary

Wife's estate should be distributed as follows: \$1,000 to Ted, pastor of First Avenue Church, and the residue to Child. Child is a contract creditor of the Wife's estate because Wife and Husband signed a contractual will in 1995. Robin is entitled to nothing because the attempted bequest to her was evidenced by an unattested writing.

John, who would have been entitled to the bulk of Wife's estate under the 2002 will, takes nothing because Wife's entire estate is exhausted by the claims of Ted and Child. John would take from Wife's estate only if the 1995 will was not contractual and the 2002 will could not be successfully contested.

Point One: (30-40%)

The joint will executed by Husband and Wife constituted their contract that the survivor would not change their joint plan for distribution of their assets. As a result, Ted and Child can enforce the provisions of the 1995 will without contesting the 2002 will.

Although the existence of a joint will does not by itself establish the existence of a contract between the two testators to dispose of their property in a certain way, a will contract is created when the joint will includes material provisions of the contract or has language in it that refers to a contract between the testators. UNIF. PROBATE CODE § 2-514. Here, the language of the joint will "each of us agrees" should be more than sufficient to establish the existence of a contract between Husband and Wife to dispose of the property in a certain way.

The contract became irrevocable upon the death of Husband. See 1 William J. Bowe & Douglas W. Parker, PAGE ON THE LAW OF WILLS ' 10.2 (1960) [hereinafter "PAGE ON WILLS"] ("On the death of one party, leaving in effect a will which contains the provisions prescribed by the

contract, the transaction is said to become an irrevocable contract as to the survivor.”); *see also Estate of Wiggins*, 360 N.Y.S.2d 129 (App. Div. 1974). Because the terms of the contract mandated that Wife, the survivor, distribute all of “her property” in accordance with the joint plan of distribution, Wife was obligated to distribute not only the couple’s joint property, but also the property she acquired after Husband’s death, in accordance with the will contract as reflected in the 1995 joint will.

The will contract does not by itself invalidate Wife’s 2002 will. Instead, the will contract makes the beneficiaries under the joint will contract creditors of Wife’s estate. *See* 1 PAGE ON WILLS § 10.3. Here, the contract required distribution of the entire estate to the beneficiaries of the joint will. As a result, although the 2002 will would properly be admitted to probate, the beneficiaries under that will would take nothing; rather, the entire estate would be paid to the creditors, Child and Ted (*see* Point Two), under the prior will.

If applicants conclude that the phrase “each of us agrees” does not sufficiently state contractual intent, then the 1995 will would not be contractual and would be revoked by the 2002 will to the extent they were inconsistent. Therefore, Ted would take \$1,000. (*See* Point Two.) Child would take only \$100,000 under the 2002 will and John would take the residue.

Point Two: (20-30%)

Under either the doctrine of facts of independent significance, or the general rule of construction that wills “speak at the time of death,” Ted, the current pastor of First Avenue Church, takes \$1,000.

In general, a testator must identify beneficiaries in the will itself; a testator may not change will beneficiaries without testamentary formalities. The doctrine of facts of independent significance, however, gives effect to a will provision that disposes of property “by reference to acts and events that have significance apart from their effect upon the dispositions made by the will.” UNIF. PROBATE CODE § 2-512; *see also* 2 PAGE ON WILLS § 19.34. The principle behind the doctrine is that the possibility of undue influence or fraud is reduced when the change in beneficiary has significance apart from the change in the testator’s will. Hence, since the church was unlikely to choose its pastor in order to assure that the pastor chosen would inherit \$1,000 from the estate of Husband and Wife, that factCthe pastor’s identityChas significance apart from the bequest. Hence, the doctrine would give effect to the \$1,000 bequest to the then-current pastor, which was Ted, not George.

By contrast, the memorandum in the safe deposit box directing that \$1,000 be distributed to Robin cannot be given effect under this doctrine because that memorandum had no purpose independent of an attempt to make a bequest. *See* 2 PAGE ON WILLS § 19.34 at 122; *see also* Point Three.

The bequest to the pastor also is effective under the general rule of construction that a will “speaks” as of the time of death and at that time Ted is the only person qualifying for the bequest to the pastor of the First Avenue Church.

[NOTE: Applicants could reach the same result using the so-called “plain meaning” rule. Under this rule, Ted takes because the words in the will are unambiguous that the bequest passes to the church pastor who survives Wife.]

Point Three: (20-30%)

The \$1,000 bequest to Robin is invalid because it is not evidenced by a testamentary instrument.

While a will may incorporate an attempted bequest in a document not executed with the formalities required of a will, here the attempted bequest to Robin in such a document is invalid because the incorporation by reference doctrine requires that the document to be incorporated be in existence at the time the will was signed. Here the document to be incorporated was executed after both the 1995 and the 2002 wills were executed.

Furthermore, even if the jurisdiction had adopted a statute like Unif. Probate Code § 2-513, the bequest would still be invalid. That statute permits tangible personal property to be disposed of in accordance with the terms of an unattested memorandum without regard to when it was executed. However, § 2-513 applies only to tangibles; here, Wife attempted to bequeath Robin money, which is not a tangible.

Lastly, this bequest cannot be sustained under the doctrine of independent significance because the memorandum’s only significance was to make a testamentary gift.

[NOTE: Applicants who assume that the memorandum is in Wife’s handwriting and that holographic works are valid under state law could conclude that the \$1,000 gift to Robin was valid. However, no facts state that the memorandum was in Wife’s handwriting.]

FAMILY LAW I.E, V.A, VII.C; CONFLICT OF LAWS III.C.6

ANALYSIS

- Legal Problems:
- (1) (a) Must a state that does not permit common law marriage recognize a common law marriage that was valid in the state where contracted?
 - (b) Did Wendy and Matt enter into a valid common law marriage?
 - (2) Did Wendy and Matt enter into an enforceable agreement to share property?
 - (3) Should the court grant Steve's adoption petition over Matt's objection?

DISCUSSION

Summary

If Matt and Wendy entered into a valid common law marriage in State A, it would be recognized in State B even though State B law does not permit common law marriage. However, Matt and Wendy did not enter into a valid common law marriage in State A. Although the "ceremony of commitment" might arguably represent an agreement to be married, Matt and Wendy did not publicly hold themselves out as a married couple. Thus, Matt may not claim a spousal entitlement to a share of Wendy's property acquired during their relationship.

However, if State B recognizes oral cohabitation agreements, the court could find that Matt's and Wendy's agreement to "treat each other as an equal owner of all worldly goods acquired during our life together" was enforceable and award Matt a share of Wendy's property acquired during the period they cohabited. Many states recognize such oral agreements.

The court may not grant Steve's adoption petition over Matt's opposition. Although the U.S. Supreme Court has upheld restrictions on the right of an unmarried father to veto his child's adoption, it has also required the states to give fathers who have been committed parents the opportunity to veto a stepparent adoption.

Point One(a): (5-15%)

A common law marriage that is valid where contracted is also valid in a state that does not permit common law marriage.

Under universally accepted conflict-of-laws principles, a marriage valid under the law of the place in which it was contracted will be valid elsewhere unless it violates a strong public policy of the

state that has the most significant relationship to the spouses and the marriage. *See* RESTATEMENT (SECOND) OF CONFLICT OF LAWS § 283. Perhaps because the vast majority of states once permitted common law marriage, courts in states that do not recognize common law marriage have consistently held that, if a man and woman are domiciled in a state that permits common law marriage and their conduct meets the requirements of that state's law for establishing such a marriage, recognition of the marriage does not violate a strong public policy. Thus, if Matt and Wendy entered into a valid common law marriage in State A, it would be recognized by a State B court.

Point One(b): (25-35%)

The court may not find that Wendy and Matt entered into a common law marriage because they did not hold themselves out as a married couple.

A common law marriage creates marital obligations and rights identical to those flowing from a ceremonial marriage, including the equitable distribution of marital property. To establish a common law marriage, the proponent must show: (1) capacity to enter a marital contract, (2) a present agreement to be married, (3) cohabitation, and (4) "holding out" a marital relationship to the community. The evidence here clearly establishes capacity and cohabitation. Arguably, the commitment ceremony shows an agreement to be married as it involved an exchange of "vows" much like those made in a traditional marriage ceremony. (A court might also find that there was no agreement to marry because the ceremony did not include any references to marriage or use the terms "husband" and "wife.") But Matt and Wendy did not hold themselves out to the public as a married couple; they consistently referred to each other as "companion" rather than husband and wife, and Wendy retained her own name.

Point Two: (15-25%)

The court may find that Matt's and Wendy's mutual vows to share "our worldly goods" constituted an enforceable agreement to share property acquired during their relationship if state law permits a cohabitant to recover based on a verbal cohabitation agreement.

Agreements between cohabitants creating property or support rights were once unenforceable because they were made in the context of a "meretricious relationship." But since the California Supreme Court's landmark decision in *Marvin v. Marvin*, 557 P.2d 106 (Cal. 1976), many states have abandoned this approach and declared cohabitation agreements enforceable as long as they do not involve the explicit exchange of money for sex. *See* Joel E. Smith, *Annotation, Property Rights Arising from Relationship of Couple Cohabiting Without Marriage*, 3 A.L.R. 4th 13 (1979 & Supp.) (surveying state laws). Again following *Marvin* and in contrast to the approach applied to premarital agreements, most courts in states that permit enforcement of cohabitation agreements do not require such agreements to be in writing or even to be clear and specific; oral agreements that vaguely require the cohabitants to share or "do right by" each other have been held to create enforceable claims to post-relationship property division and/or support. *See, e.g., Morone v. Morone*, 413 N.E.2d 1154 (N.Y. 1980). Many states, yet again following *Marvin*, will even imply an agreement from the parties' behavior.

Because Matt and Wendy vowed at their “ceremony of commitment” to “treat each other as an equal owner” of goods acquired during the relationship, Matt would not face the evidentiary problems that many cohabitants confront; the “agreement” was made before fifty guests, all of whom are now potential witnesses. The fact that Matt and Wendy thereafter had a child together, jointly participated in the child’s care, pooled their earnings in a joint bank account, and remained together in a stable relationship for nearly a decade provides further behavioral evidence of an agreement to share property.

If applicants find that a valid common law marriage existed, then their discussion should address equitable principles of property division and/or community property principles if applicable in their jurisdictions.

[NOTE: Applicants who recognize the alternate theories of constructive trust, *quantum meruit*, partnership, or partition may receive additional credit. *See, e.g., Tapley v. Tapley*, 449 A.2d 1218 (N.H. 1982) (limiting cohabitant’s *quantum meruit* recovery to compensation for business services); *Tarry v. Stewart*, 649 N.E.2d 1 (Ohio Ct. App. 1994) (disallowing cohabitant’s *quantum meruit* claim for improvements to house because of benefit received from living in house during the relationship).

Point Three: (35-45%)

The court may not grant Steve’s adoption petition over Matt’s opposition because Matt has been an involved father who lived with his child for a substantial portion of the child’s life and who wishes to maintain an active, custodial relationship with the child.

Although the U.S. Supreme Court has upheld state statutes that grant the unmarried father only a limited opportunity to object to his child’s adoption (*see, e.g., Lehr v. Robertson*, 463 U.S. 248 (1983); *Quilloin v. Walcott*, 434 U.S. 246 (1978)), it has also stated that, “[w]hen an unwed father demonstrates a full commitment to the responsibilities of parenthood by ‘[coming] forward to participate in the rearing of his child,’ his interest in personal contact with his child acquires substantial protection under the Due Process Clause.” *Lehr*, 463 U.S. at 261 (internal citation omitted). Applying this standard, the Supreme Court upheld a statute authorizing a court to dispense with the requirement of the unmarried father’s consent to the adoption of his child, at least when the father had “never shouldered any significant responsibility with respect to the daily supervision, education, protection, or care of the child.” *Quilloin*, 434 U.S. at 256. By contrast, the Court struck down a statute dispensing with the requirement of the unmarried father’s consent as applied to a man who had maintained joint custody of his children from the time of their birth until they were two and four years old. *Caban v. Mohammed*, 441 U.S. 380 (1979). Both *Quilloin* and *Caban* involved stepparent adoptions like that sought by Steve and Wendy.

The evidence unequivocally shows that Matt has demonstrated “a full commitment to the responsibilities of parenthood.” Not only did he live with Child for most of Child’s life, but the evidence suggests that he was an equal participant in Child’s care. Moreover, since Wendy’s marriage, Matt has consistently visited Child despite Wendy’s rigid visitation restrictions. Matt has volunteered to pay child support, and he took the initiative to establish his paternity and obtain joint custody.

Because Matt is a committed father entitled to protection under the due process clause, his parental rights cannot be severed without his consent or a showing of parental unfitness. As there is no evidence of abuse, neglect, or other grounds for termination, the adoption petition must be denied.

[NOTE: Examinees could receive extra credit for noting that the Supreme Court's decision in *Michael H. v. Gerald D.*, 491 U.S. 110 (1989), upholding a statute that denied an unmarried father the opportunity to establish his paternity over the combined opposition of the mother and her husband, does not alter this result. The statute at issue in *Michael H.* applied only when the mother was married to the husband at the time she gave birth; the Court relied heavily on the state's interest in preventing disruption of intact marital families in its analysis. Those applicants who find that a common law marriage existed could discuss the presumption of paternity because Child was born in wedlock. However, because the common law marriage was not registered, they should still go on to analyze Matt's rights under the unmarried father principles as discussed above in concluding that Steve's adoption petition must be denied.

CORPORATIONS VI

ANALYSIS

- Legal problems:
- (1) Did Parensco breach any of its fiduciary duties by failing to disclose the Aster proposal to the minority shareholders of Subco?
 - (2) Did the Subco board breach its duty of care to the Subco shareholders in approving the merger?
 - (3) Did Parensco breach any duty owed to the minority shareholders of Subco by offering to pay them only \$120 per share?

DISCUSSION

Summary

Parensco probably did breach its fiduciary duties by failing to disclose the Aster proposal to the minority shareholders of Subco. A majority shareholder has a duty to disclose information if it is material and if non-disclosure will cause a loss to minority shareholders. The Subco board probably did breach its duty of care by approving the merger after only brief discussion. Parensco probably did breach its fiduciary duty of fair dealing because it did not offer a fair price and did not engage in a fair process when it failed to make full disclosure of the Aster proposal.

Point One: (45-55%)

Parensco probably breached its fiduciary duties to the minority shareholders of Subco by failing to disclose the Aster proposal.

As majority shareholder, Parensco has a duty to disclose any information that it knew or should have known if that information was material. Here, Parensco will be found to have breached this duty to disclose if the information regarding the Aster proposal was material, and the nondisclosure caused a loss to the minority shareholders.

As to the materiality of the nondisclosure, the minority shareholders would argue that the information regarding Aster went to the fairness of the price that Parensco was offering and, therefore, a reasonable shareholder would consider it important in deciding how to vote on the transaction. *See Rosenblatt v. Getty Oil Co.*, 493 A.2d 929, 944 (Del. 1985). Although the \$200 per share price arose in the context of a preliminary conversation, and may not have been a firm offer, the shareholders would argue that they are capable of assessing the importance of the information, and they can take into account that any further discussions regarding the proposal might have broken down or the deal might not have been consummated. *See Basic Inc. v. Levinson*, 485 U.S. 224 (1988).

Parensco will counter that the price offered by Aster was immaterial for two reasons. First, the price offered by Aster was preliminary in nature and there is no obligation to disclose a preliminary conversation. Second, the price that Aster might have offered for control of Subco bears little relationship to a fair price for a minority interest, which is what Parensco was offering to acquire in the merger. Aster was negotiating to buy control of Subco, something that the minority shareholders could not sell. The question of materiality is a close one, but on balance it appears that the information was material.

Assuming that the information was material, the next question is whether its nondisclosure caused any loss to the minority shareholders. Parensco would argue that the nondisclosure caused no loss; it had sufficient votes to approve the transaction without any of the minority shareholders' votes. The minority will counter that, although the merger could have been approved without their vote, had they had the disclosure, the minority shareholders could have exercised their rights under the state appraisal statute. *See Alabama Farm Bureau Mut. Cas. Co. v. American Fid. Life Ins. Co.*, 606 F.2d 602, 614 (5th Cir. 1979) (minority shareholders need only demonstrate that nondisclosure deprived them of a state remedy that would otherwise have been available). As the merger has now been consummated, this remedy is foreclosed. Thus, they would argue that the nondisclosure caused them loss.

Point Two: (25-30%)

The Subco board appears to have breached its duty of care to the Subco shareholders in approving the merger.

Ordinarily the Subco board's action would be protected by the business judgment rule. Here, however, even though the facts are not extensive on this point, they do suggest that the Subco board was only minimally involved in the approval of the merger, and failed to exercise due care. The Subco board relied solely on a report of an investment banker and a presentation from Carr, the president of Parensco, and voted to approve the deal after a "brief discussion." The nature of the transaction, resulting in a cash-out of the minority shareholders, called for high degree of care by the directors. They apparently failed to undertake much of an investigation. *See Smith v. Van Gorkom*, 488 A.2d 858 (Del. 1985). While their reliance on Banker's report appears to be justified, it might not be enough to discharge their duty of care.

The Subco board might argue that the approval by the minority shareholders "cured" any breach of the duty of care and that since this approval was by a majority of the minority shareholders, the burden of proof shifts to the complaining minority shareholders to prove that the merger was unfair. In fact, however, the approval by the minority shareholders is without legal effect because there was not full disclosure, as noted above.

Point Three: (15-25%)

Parensco probably breached its fiduciary duty of fair dealing when it offered to pay the minority shareholders of Subco only \$120 per share.

When a majority shareholder purchases the interest of the minority, it has a duty of fair dealing. *Weinberger v. UOP, Inc.*, 457 A.2d 701 (Del. 1983). The transaction is reviewable to determine

whether the majority shareholder discharged this duty. Under the facts of this case, it is doubtful that Parensco did. Parensco bears the burden of demonstrating that the process it employed was fair and that the price that it selected was fair. *See id.* at 710-11. As to the former, the discussion above in Points One and Two demonstrates that Parensco failed to engage in a fair process. As to the latter, the negotiations with Aster and the subsequent sale of Subco assets for \$3 billion, not \$800 million, so soon after the acquisition of the minority shares for only \$120 each, suggest that the minority shares of Subco were worth more than Parensco was offering in the merger. As a result, Parensco probably breached its fiduciary duty of fair dealing.

FEDERAL CIVIL PROCEDURE I.D, IV.A, IV.F, VI.F

ANALYSIS

- Legal Problems:
- (1) Can Smith Brothers Transport assert a statute-of-limitations bar to an action when it was added to the action by an amended complaint filed after the applicable statute of limitations had run?
 - (2) May a defendant immediately appeal a judge's denial of a motion to dismiss when the defendant claims that an action against it is barred by the statute of limitations?
 - (3) Does the trial court have the power to dismiss a party's defense and enter default judgment against the party because the party's attorney failed to appear at a pretrial conference?

DISCUSSION

Summary

Pat's amendment of her complaint to name the proper defendant, Smith Brothers Transport, meets the requirements necessary for the amendment to relate back to the date of the original pleading. Thus, Pat's action against Smith Brothers Transport should be treated as timely filed, notwithstanding that Smith Brothers Transport was not added to the action until after the limitations period had run. The trial judge therefore correctly denied the motion to dismiss.

Smith Brothers Transport may not immediately appeal the denial of its motion to dismiss. The denial of a motion to dismiss is not a final judgment, and the judge's order in this case does not fall within any of the exceptions to the final judgment rule. Thus, the decision may be appealed only after the trial is concluded and the judgment is final.

Driver's attorney failed to appear as ordered at the pretrial conference because Driver didn't wish to discuss settlement. Although a trial judge has the power to sanction such behavior, including by entering a default judgment, the sanction in this case was probably so harsh as to be an abuse of discretion, at least absent other misbehavior by Driver or evidence that a lesser sanction would have been ineffective in securing future adherence to the judge's orders.

Point One: (30-40%)

Because Pat's amended complaint was served on Smith Brothers Transport within the time for original service of process under Fed. R. Civ. P. 4(m), and because Smith Brothers Transport knew or should have known of the mistaken identity and would not be prejudiced by the delay, the court properly allowed the amended complaint to relate back to the date of the original filing.

Federal Rule of Civil Procedure 15(a) allows a complaint to be amended “once as a matter of course at any time before a responsive pleading is served.” Thus, Pat’s complaint was properly amended. *See* 6 Charles Alan Wright, et al., *FEDERAL PRACTICE & PROCEDURE* 2d ed. §§ 1484 & 1487 (1990) [hereinafter “*FEDERAL PRACTICE & PROCEDURE*”].

Not only can Pat amend her complaint to name the proper defendant, Smith Brothers Transport, but her amendment will “relate back to the date of the original pleading” if certain requirements are met. An amendment that “changes the party or the naming of the party against whom a claim is asserted” relates back to the date of the original pleading when:

- the claim asserted in the amended pleading “arose out of the conduct, transaction, or occurrence set forth or attempted to be set forth in the original pleading,” and
- within 120 days of the original filing of the action (the normal time limit for service of the summons and complaint under Fed. R. Civ. P. 4(m)), the new party “has received such notice of the institution of the action” that it will “not be prejudiced in maintaining a defense on the merits,” and the new party
- “knew or should have known that, but for a mistake concerning the identity of the proper party, the action would have been brought against” it.

Fed. R. Civ. P. 15(c).

Each of these requirements for relation back is met here. The amended complaint asserted the same claim, arising out of the same occurrence, as had been originally asserted against Smith Brothers Trucking, thus satisfying the first requirement. As to the second requirement, the facts suggest that both the original summons and complaint and the amended summons and complaint were served within the 120-day summons period. Given that Smith Brothers Trucking and Smith Brothers Transport have common owners, common premises, and the same agent for service of process (Robert Smith), either service of the summons and complaint would have given Smith Brothers Transport sufficient “notice of the institution of the action” that it would “not be prejudiced in maintaining” its defense.

Robert Smith received notice of the commencement of the original action and at that point he “should have known” that a lawsuit was being filed for Pat’s accident and that a mistake had been made as to the proper defendant. Even if he did not know at that point, he surely knew when the amended complaint was served. Thus, the amendment naming Smith Brothers Transport relates back to the date of the original filing, and the motion to dismiss on statute of limitations grounds should be denied. *See Roberts v. Michaels*, 219 F.3d 775 (8th Cir. 2000); *Bowles v. Reade*, 198 F.3d 752 (9th Cir. 1999); *VKK Corp. v. Nat’l Football League*, 244 F.3d 114 (2d Cir. 2001). *See also* 6A *FEDERAL PRACTICE & PROCEDURE* § 1498 at 22-23 (2004 Supp.).

Point Two: (30-40%)

Because defendant Smith Brothers Transport’s appeal does not fall within any of the exceptions to the final judgment rule, the denial of the motion to dismiss may be appealed only after the trial is concluded and the judgment is final.

In most cases, a party may appeal only from a final judgment. *See* Larry L. Tepley & Ralph U. Whitten, CIVIL PROCEDURE 930-32 (3d ed. 2004). A final judgment is a controlling and dispositive order that “ends the litigation on the merits and leaves nothing for the court to do but execute on the judgment.” *Catlin v. United States*, 324 U.S. 229, 233 (1945). In addition, Fed. R. Civ. P. 54(b) allows a trial judge to sever portions of a multi-claim case for appeal with a finding that “there is no just reason for delay” and with a direction for the entry of judgment on the decided claim(s) or defense(s). But unless this is done, early decided claims must ordinarily await final judgment as to all claims before they are eligible for appeal. Under either the standard final judgment rule or Fed. R. Civ. P. 54(b), Smith Brothers Transport cannot appeal the denial of its motion to dismiss. Rather than ending the litigation on the merits or terminating a particular claim, the trial judge’s decision allowed the litigation to continue. Smith Brothers Transport was joined to the action and now faces trial.

This issue also does not qualify for any of the statutory exceptions to the final judgment rule. It is not an interlocutory appeal from an order granting or dissolving an injunction, *see* 28 U.S.C. § 1292(a), and it does not qualify as a certified appeal because the trial judge refused to certify the question, *see* 28 U.S.C. § 1292(b).

The judge-made collateral order exception to the final judgment rule is also inapplicable. The collateral order rule allows an immediate appeal from an order that (1) “finally determine[s]” a “claim of right,” (2) that is separable from, and collateral to, the rights asserted in the main action, and (3) that is “too important to be denied review.” *Cohen v. Beneficial Industrial Loan Corp.*, 337 U.S. 541, 546 (1949). The Court restated the doctrine in *Coopers & Lybrand v. Livesay*: “To come within the ‘small class’ of decisions excepted from the final judgment rule by *Cohen*, the order must conclusively determine the disputed question, resolve an important issue completely separate from the merits of the action, and be effectively unreviewable on appeal from a final judgment.” 437 U.S. 463, 468 (1978). The denial of Smith Brothers Transport’s motion to dismiss fails on all counts. It does not conclusively determine the disputed question (whether the statute of limitations has run), the issue is not completely separate from the merits, but is instead intertwined with the merits, and the question is reviewable on appeal.

[NOTE: A writ of mandamus may sometimes be used to secure review of a trial court’s action. Mandamus is a drastic remedy, to be used only when justice demands and less extraordinary remedies are unavailable. *Kerr v. United States*, 426 U.S. 394, 402 (1976). Mandamus is generally used by an appellate court “to prevent a district court from acting beyond its [subject matter] jurisdiction, or to compel it to take action that it lacks the power to withhold.” 16 FEDERAL PRACTICE & PROCEDURE § 3932 at 472, citing *Will v. United States*, 389 U.S. 90 (1967). On the facts of this problem, mandamus is inappropriate because the trial court’s decision in no way involved action beyond the court’s power. To the contrary, the trial court clearly has the power under the Federal Rules to permit an amendment of a complaint to relate back to the date of the original complaint for statute-of-limitations purposes. Thus, there was no abuse of power here.]

Point Three: (30-40%)

The trial judge may have abused her discretion in entering a default judgment against Driver for his attorney’s failure to appear at the pretrial conference, at least absent any other instances of misbehavior by Driver or his attorney or any evidence that lesser sanctions would not work.

Federal Rule of Civil Procedure 16 authorizes a district judge to convene pretrial conferences for the purpose of ensuring that cases are processed effectively and efficiently. Although courts are not required to hold a pretrial conference, *see* FED. R. CIV. P. 16(a), once a conference is ordered, appearance is compulsory. *See Identiseal Corp. v. Positive Identification Sys., Inc.*, 560 F.2d 298, 301-02 (7th Cir. 1977). The scheduling and running of pretrial conferences is largely within the trial court's discretion. Moreover, the court has the power to sanction a party or the party's attorney if "no appearance is made on behalf of [the] party at a . . . pretrial conference." FED. R. CIV. P. 16(f). Possible sanctions include any order authorized under Fed. R. Civ. P. 37(b)(2)(B), (C), & (D), including "[a]n order striking out pleadings . . . or dismissing the action . . . or rendering a judgment by default against the disobedient party."

Thus, the trial judge had the power to sanction Driver for the nonappearance of Driver's attorney. Moreover, the sanction imposed (striking Driver's pleading and rendering judgment against him) is authorized by the rules. Nonetheless, Driver may prevail on appeal if he can show that the trial judge abused her discretion in light of the facts and the severity of the sanction. *See Link v. Wabash R.R. Co.*, 370 U.S. 626 (1962).

Driver's attorney stated that he did not attend the pretrial conference because Driver was unwilling to settle the case and, accordingly, did not want the attorney to waste money by attending an unnecessary hearing. This explanation of non-attendance is plainly inadequate. Pretrial conferences have multiple purposes. In addition to facilitating settlement, they are used to establish early court control over an action to ensure good case management and to discourage "wasteful pretrial activities." Driver's assessment that his attorney's attendance at the conference would be a "waste" does not justify the disregard of the court's order.

Nonetheless, the court's sanction against Driver was probably so harsh as to be an abuse of discretion. Dismissal of an action or the entry of a default judgment are the most severe sanctions available to a district court and are usually appropriate "only when [a party's] misconduct is serious, repeated, contumacious, extreme, or otherwise inexcusable." *Bachier-Ortiz v. Colon-Mendoza*, 331 F.3d 193, 195 (1st Cir. 2003). Lesser sanctions should be utilized before the more extreme sanctions, absent reason to believe that lesser sanctions would be ineffective to secure compliance with court orders. *See Berry v. CIGNA/RSI-CIGNA*, 975 F.2d 1188 (5th Cir. 1992). Absent additional facts showing repeated defiance of the court or the likely ineffectiveness of lesser sanctions, the trial judge's decision to enter a default judgment in this case was probably an abuse of her discretion to "make such orders [with regard to the attorney's failure to attend the conference] as are just." FED. R. CIV. P. 16(f).

SECURED TRANSACTIONS V.A, V.B

ANALYSIS

- Legal Problems:
- (1) Did Dealer properly dispose of the collateral?
 - (2) What remedies are available to Joe as a result of Dealer's failure to properly enforce Dealer's security interest?
 - (3) Is Joe responsible for the \$2,500 deficiency?

DISCUSSION

Summary

Dealer was required to dispose of the collateral in a "commercially reasonable" manner, which involves giving Joe reasonable advance notice of a public sale after adequate publicity preceding the sale. Here, Dealer's purchase of the boat for Dealer's own use without such advance notice and in a private sale did not satisfy the requirements for a commercially reasonable sale.

Where there has been a noncomplying disposition of consumer goods (the boat was purchased for Joe's family use, which makes it a consumer good), the consumer is entitled to recover actual damages and, in any event, a minimum statutory damage recovery. Because Dealer is still in possession of the boat, a court might also order Dealer to dispose of it through a proper public sale or even to permit Joe to redeem it.

Joe may or may not have the obligation to pay the deficiency. In consumer transactions, there is no "Code" rule. Some courts follow the absolute bar rule, under which a noncomplying sale completely bars recovery of a deficiency. Other courts adopt a rebuttable presumption that a complying sale would have produced proceeds sufficient to pay the existing debt, but the creditor is entitled to a deficiency judgment if it can rebut the presumption and prove that a complying sale would have produced less than the amount due.

Point One: (30-40%)

Dealer's disposition of the collateral failed to comply with UCC requirements in two respects. First, Dealer purchased the boat in a private sale, which was inappropriate under the circumstances. Second, Dealer failed to give Joe advance notice of the sale.

Under the UCC, every aspect of a disposition must be commercially reasonable. UCC § 9-610(b). In addition, the UCC sets out some specific standards governing the disposition of collateral. One of these standards is the rule that a secured party may purchase the collateral *only* if the secured party buys it

- (1) at a public disposition; or

(2) at a private disposition only if the collateral is of a kind that is customarily sold on a recognized market or the subject of widely distributed standard price quotations. UCC § 9-610(c). Neither requirement was met here.

First, Dealer purchased the collateral in a private, not a public, disposition. Public dispositions are those with some form of advertisement or public notice preceding the sale and where the public has access to the sale. *Id.* at cmt. 7. There is no suggestion that Dealer sought any third-party bids for the boat or made any public offer to sell it. Second, used boats are not sold under circumstances that would make a private sale appropriate. The facts make clear that used boats are not sold on a recognized market or pursuant to standard price quotations. To the contrary, boat prices fluctuate based on many factors and are subject to individual bids and negotiations. Thus, Dealer's private purchase of the boat was improper.

Dealer's disposition was also improper because Dealer did not inform Joe of the disposition until after it had occurred. The UCC requires a secured party to provide notice to the debtor before disposing of collateral. UCC § 9-611. A proper notice must describe the intended disposition and must be sent within a reasonable time before the disposition. UCC § 9-613. Under the facts, Joe was never informed of the impending disposition. The only notice he received was after the fact. This failure to notify was also a violation of the UCC.

[NOTE: The facts state that Dealer "disposed of the boat by purchasing it," which is one manner of disposition of collateral under UCC § 9-610. The problem is designed to force applicants to discuss the standards for disposition of collateral and whether Dealer met them. However, some applicants may incorrectly treat Dealer's actions as an "acceptance of collateral in full or partial satisfaction of the obligation," rather than as a disposition. *See* UCC § 9-620. Those applicants could receive some credit if their critique of Dealer's actions addresses the central problems of lack of notice and the commercial unreasonableness of Dealer's purchasing this type of collateral from itself in a private sale.]

Point Two

Joe has a number of potential remedies, including actual damages, statutory damages, and the possibility of a court-ordered alternative disposition of the collateral.

Point Two(a): (5-15%)

Joe may recover any actual damages.

Dealer is liable for actual damages in the amount of any loss caused by failing to comply with the UCC rules for notice of disposition and a commercially reasonable disposition. UCC § 9-625(b). Damages are "those reasonably calculated to put an eligible claimant in the position that it would have occupied had no violation occurred." *Id.* at cmt. 3. The most likely measure of Joe's actual loss is the difference between the amount credited to Joe by Dealer and the amount that would have been obtained in a sale that complied with UCC requirements. Under these facts, however, Joe would probably have trouble proving that a proper sale would have yielded a significantly better price for the boat.

Point Two(b): (5-15%)

Because this is a consumer transaction, Joe may recover “statutory damages” even if he suffered no actual damages.

Where the collateral is consumer goods, as here, the debtor is guaranteed a minimum recovery of “statutory damages” in an amount not less than the credit service charge (the interest payable on the loan) plus 10 percent (\$1,000) of the principal amount of the loan. UCC § 9-625(c)(2). The purpose of this remedy is to “ensure that every noncompliance [with UCC requirements relating to the disposition of collateral] in a consumer goods transaction results in liability, regardless of any injury that may have resulted.” *Id.* at cmt. 4.

Point Two(c): (5-15%)

Given that Dealer is still in possession of the collateral, a court could order Dealer to dispose of the collateral by a proper sale or even allow Joe to exercise his right of redemption.

Where a secured party is disposing of collateral improperly, a court “may order or restrain . . . disposition on appropriate terms and conditions.” UCC § 9-625(a). Given the absence of any third-party purchaser of the collateral, a court might void Dealer’s improper sale to itself and order Dealer to sell the collateral by a proper public disposition.

In addition, Joe has a right to redeem repossessed collateral by paying all amounts owed along with Dealer’s repossession expenses. This redemption right is usually extinguished by a proper disposition of collateral. *See* UCC § 9-623. But a court might allow Joe to redeem under these circumstances (if he wishes to do so and can pay the required amounts), given the impropriety of the private sale by Dealer to itself and the fact that the boat is still in Dealer’s possession.

Point Three: (25-35%)

Joe’s liability for a deficiency depends on whether the jurisdiction adopts the absolute bar rule or the rebuttable presumption rule.

Although ordinarily the secured party may recover a deficiency remaining after disposition, UCC § 9-615(d), Joe has several arguments to reduce or eliminate the claimed deficiency of \$2,500.

Under UCC § 9-626(b), the impact of noncompliance with Article 9 on recovery of a deficiency in a consumer goods transaction is left to the court to determine. Courts tend to follow two approaches in consumer transactions. Under the so-called “absolute bar” rule, the creditor’s noncompliance bars recovery of any deficiency. Under the “rebuttable presumption” rule (adopted in UCC § 9-626 for commercial transactions), the creditor’s noncompliance results in a presumption that a complying disposition would have realized an amount of proceeds sufficient to cover the entire debt and expenses (and hence that there is no deficiency), but the creditor is given the opportunity to rebut this presumption by proving that even a complying sale would have realized less than the full amount due.

If the absolute bar rule is followed, Joe owes nothing to Dealer. If the rebuttable presumption rule is followed, Joe may be liable for a deficiency if Dealer can prove that a proper disposition of the

collateral would have yielded less than what Joe owed (plus expenses). The facts state that the price the Dealer credited to Joe was within a range of likely prices, so it is possible that Dealer could show that even a proper sale would have yielded less than the amount owed on the boat.

[NOTE: It is possible that Joe would be permitted both to recover his statutory damages and to have any deficiency eliminated through the application of one of these rules. Although double recovery or over-compensation of this sort is forbidden in a non-consumer context, the Code “is silent as to whether a double recovery or other over-compensation is possible in a consumer transaction.” UCC § 9-625, cmt. 3. Some courts have therefore concluded that denial of deficiency does not preclude a consumer from also recovering statutory damages. *See Coxall v. Clover Commercial Corp.*, 781 N.Y.S.2d 567 (N.Y. City Civ. Ct. 2004).]

2007 MEE
Questions and Analyses

2007 MEE Questions and Analyses

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Preface

This publication includes the questions and analyses from the February 2007 and July 2007 Multistate Essay Examinations. Each test includes seven questions; most jurisdictions that use the MEE select the six questions their applicants will answer.

The model analyses to the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions for the sole purpose of assisting graders in grading the examination. These models are not an official grading guide. Some jurisdictions grade the MEE on the basis of state law, and jurisdictions are free to modify the analyses as they wish, including the suggested weights given to particular points. Grading of the MEE is the exclusive responsibility of the jurisdiction using the MEE as part of its admissions process.

The topic or topics covered by each question are listed on the first page of its accompanying analysis, followed by Roman numerals which refer to the MEE subject matter outline for that topic. For example, Question 3 on the February 2007 MEE tested Federal Civil Procedure I.A.1., subject matter jurisdiction in federal courts, and I.E., venue. Subject matter outlines are included in the *MEE Information Booklet* and can also be found at **www.ncbex.org**.

Description of the MEE

The MEE is a three-hour examination consisting of six questions. The examination is administered in one continuous three-hour time period. Applicants are expected to spend approximately thirty minutes answering each of the questions. The areas of law covered by the questions in the examination are: Agency and Partnership, Commercial Paper, Conflict of Laws, Corporations and Limited Liability Companies, Decedents' Estates, Family Law, Federal Civil Procedure, Sales, Secured Transactions, and Trusts and Future Interests. Some questions include issues in more than one area of law.

The purpose of the MEE is to test the applicant's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the applicant to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test form contains the following instructions:

Do not break the seal on this booklet until you are told to begin.

You will have three hours in which to write your answers to six of the seven questions contained in this booklet; you will be told which of the questions you are to answer. Each question is designed to be answered in thirty minutes. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

Read each fact situation very carefully and do not assume facts which are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show: an understanding of the facts; a recognition of the issues included; the applicable principles of law; and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Some jurisdictions instruct applicants to answer MEE questions according to the law of the jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

February 2007
Questions

MEE Question 1

Uncle owns a chain of sandwich shops. Nephew has worked for Uncle for several years, first as a line cook in various sandwich shops and then as a sandwich shop manager. Uncle recently sold Nephew the sandwich shop that Nephew had been managing.

Nephew paid for the shop with \$10,000 cash and a \$10,000 negotiable demand note made payable to the order of Uncle. Nephew signed the note as a maker. To show her faith in her son, Nephew's mother, Mom, signed the note with the words "Mom, as guarantor." Her signature appears on the front of the note, immediately below Nephew's signature and under the additional word "Guaranteed."

The note provided that all parties to it waived presentment and notice of dishonor. When they signed the note, Uncle, Nephew, and Mom orally agreed that Uncle would not seek payment of the note until the shop was making a good profit and that he would negotiate the note only with Nephew's and Mom's consent.

Three months after the note was signed and before any payment had been made, Uncle indorsed the note and sold it to Acme Finance Co. for \$9,000 cash. Uncle did not obtain Nephew's or Mom's consent to this sale. Acme had no knowledge of the oral agreement among Uncle, Nephew, and Mom.

When Acme sought payment from Nephew, Nephew persuaded Acme that any effort to collect full payment from him would be futile. Acme therefore gave Nephew a written release from his obligations under the note in exchange for a payment of \$1,000.

Acme has sued Mom for payment of the \$9,000 still due on the note.

What rights, if any, does Acme have against Mom under Article 3 of the Uniform Commercial Code? Explain.

MEE Question 2

Testator died three years ago. His duly probated will provided that:

1. I give \$100,000 to Trustee to hold in trust and to distribute the trust income equally among those persons who are my friends at my death. After 10 years, the trust shall terminate and the trust property shall be distributed equally between my son, Sam, and the Fine Arts Program at State University. In no event shall this trust terminate earlier than 10 years after my death.
2. I give the rest of my estate to my daughter, Donna.

Both Sam and Donna survived Testator.

Walter and Janice, two neighbors of Testator, correctly claim they were good friends of Testator at the time of his death and demand that Trustee pay the income from the \$100,000 trust to them. Claimant, who has a tort judgment against Sam, demands that Trustee immediately pay Claimant \$25,000 from the trust to satisfy the judgment.

Two years after Testator died, State University closed as a result of a state budget crunch and the legislature's determination that the programs at State University, including its fine arts program, were largely duplicative of the programs at State Polytech, the other public university in the state.

1. To whom should the income from the \$100,000 trust be distributed? Explain.
2. Should Trustee immediately pay \$25,000 from the trust to Claimant? Explain.
3. To whom should Trustee pay the trust principal at the end of the 10-year period? Explain.

MEE Question 3

Transit Authority, Inc. (Transit Authority) operates a bus system in Big City. Last month, a Transit Authority bus collided with a passenger car driven by Tourist. The accident occurred when Tourist suddenly veered into the bus operator's lane at a major intersection. The bus operator was unable to stop the bus in time to avoid the collision, and Tourist was injured. Immediately after the accident occurred, the bus operator telephoned his supervisor to report the accident. Then, following Transit Authority's standard procedures, the bus operator completed an "Operator's Report of Accident" form. The completed form included the date, time, and place of the accident, the road conditions, the names of witnesses, a brief description of how the accident occurred, and a description of the personal injuries and property damage caused by the accident.

When a Transit Authority supervisor arrived twenty minutes after the accident occurred, she took a statement from the bus operator and recorded that statement on a "Supervisor's Investigative Report" form. Then she interviewed Tourist and recorded Tourist's statement on the "Supervisor's Investigative Report" form. The supervisor noted all witnesses' names, addresses, and telephone numbers in her report. She took photographs of the accident scene, including the position of each vehicle. Finally, she drew a diagram of the scene on the last page of the "Supervisor's Investigative Report" form.

Tourist has filed a personal injury action against Transit Authority in federal court, properly invoking the court's diversity jurisdiction. Tourist alleges that the bus operator, Transit Authority's employee, was driving negligently. She further alleges personal injury and property damage in a total amount exceeding \$200,000. Transit Authority has filed an answer denying the claim of negligence and asserting contributory negligence.

Tourist served two requests for production of documents on Transit Authority. One request was for "any and all accident reports, diagrams, photographs, and any other documents which relate in any way to the collision between the bus and the car." A second request was for the bus operator's "entire personnel file that is maintained by Transit Authority, including disciplinary actions, safety records, and driving records." Transit Authority has refused to produce the accident reports that the operator and the supervisor created on the grounds that the reports were "prepared in anticipation of litigation." In addition, Transit Authority refuses to produce the bus operator's personnel file because the information that it contains "is not relevant."

Tourist has made a motion to compel production of the accident reports and the bus operator's "entire personnel file."

Should Tourist's motion be granted in whole or in part? Explain.

MEE Question 4

Twelve years ago, Husband and Wife married in State A. Their marriage appeared to be happy and stable. However, one year ago, without warning, Husband left Wife and moved to State B, 500 miles away. Husband obtained a new job in State B and rented an apartment there. He has told Wife that he never intends to return to State A.

Last week, Wife was personally served in State A with a copy of Husband's State B divorce petition. The petition requests the State B court to grant a divorce on grounds of a six-month separation and irreconcilable differences. The petition also requests the State B court to award Husband the following assets, all of which are titled solely in Husband's name:

1. The marital home in State A, which Husband purchased five years before the marriage. During the marriage, Husband made mortgage payments on the home with his employment income.
2. Stock, which Husband inherited from his grandmother during the marriage.
3. Bonds, which Husband purchased with his employment income during the marriage.

All of these assets appreciated significantly in value during the marriage. Wife has no assets titled in her name alone or held jointly with Husband.

Wife is determined to fight this divorce. She has never visited State B, knows no one there, and does not believe she should have to defend a divorce action there. At the same time, she wishes to save her marriage. She has called Husband several times urging him to return to State A and enter marriage counseling, but he has refused. Wife is convinced that Husband is going through a "mid-life crisis" and would "return to his senses" with proper counseling and support. She believes she can get him that support and counseling if he returns to State A. Finally, if there must be a divorce, Wife believes that she should receive a share of the assets owned by Husband.

1. Does the State B court have jurisdiction to grant Husband a divorce and award Husband property acquired during the marriage? Explain.
2. Can Wife prevent Husband from obtaining a divorce on the grounds that she does not consent to the divorce and that the marriage might yet be saved? Explain.
3. Without regard to any jurisdictional issues, would Wife, in the event of a divorce, be entitled to a share of any of Husband's assets? Explain.

MEE Question 5

In 2000, Testator executed a valid will. The will provided:

1. I give my 100 shares of stock in XYZ Company to Brother.
2. I give \$3,000 to Sister.
3. I give \$5,000 to Uncle.
4. I give \$10,000 to Cousin.
5. I give the residue of my estate to my alma mater, Polytech.

In 2001, XYZ Company issued its annual dividend in stock. For each 100 shares held, the dividend was 6 shares of XYZ stock.

In 2002, Testator gave \$5,000 to Uncle on Uncle's birthday.

In 2005, Testator died, survived by Brother, Sister, Uncle, and Cousin. Testator's estate consists of the following assets: 106 shares of XYZ Company stock (worth \$1 per share) and \$9,000. Sister made a valid disclaimer of her interest in Testator's estate.

How should Testator's estate be distributed? Explain.

MEE Question 6

Astoria Limited Partnership (Astoria) is a properly formed limited partnership. The general partner of Astoria is Baker, an individual. The limited partners are Tim, Uma, and Vivian, who are also individuals. Under the limited partnership agreement, distributions and voting rights in the limited partnership are allocated to Baker (10%), Tim (30%), Uma (30%), and Vivian (30%).

The limited partnership agreement of Astoria gives the limited partners the right to remove Baker as the general partner—with or without cause—if the holders of 60% of the voting rights concur.

Three weeks ago, articles appeared in the business press raising questions about Baker's management of Caldonia Limited Partnership (Caldonia). While the articles did not specifically mention Astoria, the misconduct documented in the articles—contracts between Caldonia and a janitorial company owned by Baker that charged greatly inflated fees for its services—raised concerns on the part of Astoria's limited partners. Tim wrote Baker requesting that Baker, in his capacity as the general partner of Astoria, provide: (1) copies of any contracts between Astoria and any entities related to or controlled by Baker, (2) copies of any contracts for janitorial services between Astoria and any entity, (3) copies of Astoria's federal and state tax returns for the past three years, and (4) copies of all correspondence between Astoria and any other parties for the past five years. Alternatively, Tim requested access to Astoria's records in order to secure copies of the documents himself.

Baker responded by refusing all four of Tim's requests. Thereupon, Tim contacted Uma and Vivian to request their votes that Baker be removed as the general partner. Tim also proposed that the three limited partners, Tim, Uma, and Vivian, agree in writing to jointly run Astoria until a suitable replacement for Baker could be found.

1. Did Baker act wrongfully in refusing to provide Tim the information and documents he requested? Explain.
2. If the limited partners do no more than remove Baker as general partner of Astoria, will they be liable to persons who transact business with Astoria? Explain.
3. If the limited partners remove Baker and run Astoria until a replacement general partner can be found, under what circumstances will they be liable to persons who transact business with Astoria? Explain.

MEE Question 7

Nine months ago, Feagle Construction Company, Inc. (Feagle), which does business under the trade name of On Top Roofing, obtained a \$150,000 loan from National Bank. To secure the loan, Feagle assigned to National Bank “all rights to payment owed to Feagle Construction Company, Inc. by Hotel Corporation for the roofing construction project on its Broadway Street Hotel.” The Broadway Street Hotel roofing project was by far the largest of Feagle’s fifteen roofing projects and represented its largest account receivable.

National Bank promptly filed a financing statement with this same collateral description, using the trade name of On Top Roofing for the debtor. The financing statement was filed in the appropriate location, and indexed only in the name of On Top Roofing.

Three months after these events, Feagle needed additional monies. It approached State Bank for a loan of \$100,000. State Bank conducted a search of the filing office’s records for financing statements relating to “Feagle Construction Company, Inc.,” but its search did not retrieve National Bank’s financing statement. Accordingly, State Bank granted the \$100,000 loan and obtained a written agreement from Feagle granting State Bank a security interest in “all Feagle Construction Company, Inc.’s accounts, whether now owned or hereafter acquired.” State Bank filed a financing statement in the appropriate location in the name of “Feagle Construction Company, Inc.” as debtor.

Another six months later, mounting financial stress forced Feagle to default on its loans to both National Bank and State Bank. Feagle has about \$75,000 worth of outstanding accounts receivable. In particular, Hotel Corporation still owes Feagle \$50,000 for the hotel roofing project. In addition, Feagle is owed about \$25,000 on a total of ten other roofing projects it has recently completed. Both National Bank and State Bank are seeking to recover some of what Feagle owes them by collecting from Hotel Corporation the amount it still owes Feagle.

Does National Bank or State Bank have first priority in the money owed to Feagle by Hotel Corporation? Explain.

February 2007
Analyses

NEGOTIABLE INSTRUMENTS IV.A., D., V.J., VII.B., D.

ANALYSIS

- Legal Problems:
- (1) To what extent is a “guarantor” of a note liable to the holder of the note?
 - (2) Is Acme’s claim against Mom subject to the defense that Uncle negotiated the note contrary to his agreement and without authorization?
 - (3) May Mom raise a defense against Acme based on Acme’s discharge of Nephew, the principal obligor on the instrument?

DISCUSSION

Summary

Acme can recover the \$9,000 still due on the note from Mom. Although Mom has a defense against payment based on Uncle’s violation of his promise not to negotiate the note without Nephew’s and Mom’s consent, this defense is not good against Acme because Acme is a holder in due course. A holder in due course can enforce the note free of any personal defense of this sort. *See* UCC § 3-305(b).

Even though Acme discharged Nephew, Mom’s liability is intact. Mom signed as a guarantor or “accommodation party.” An accommodation party remains liable on a note, even if the creditor discharges the primary obligor. *See* UCC § 3-605. Mom’s liability is of course reduced by the amount paid on the debt by Nephew. *See* UCC § 3-419(e).

Point One: (35-45%)

Mom signed the note in the capacity of a maker of the note and is liable to Acme in that capacity, even though she signed for accommodation only, unless she has a valid defense.

Mom signed the front of the note, immediately under Nephew’s signature, and under the word “guaranteed.” She also clearly indicated that she was signing as “a guarantor.” Moreover, it is clear, in UCC terms, that Mom signed the note only for the purpose of incurring liability on it; she was not a direct beneficiary of the value given for the note, as Nephew, not Mom, received an interest in the sandwich shop. Thus, Mom signed the instrument “for accommodation,” *see* UCC § 3-419(a), and the language she used (“as guarantor” and “guaranteed”) gave notice that she had signed only for accommodation, *see* UCC § 3-419(c).

An accommodation party is “obliged to pay the instrument in the capacity in which the accommodation party signs.” UCC § 3-419(b). Mom signed on the front of the note as a person undertaking to pay and thus signed in the capacity of a maker. UCC § 3-103(a)(7). As a maker, she would be obliged to pay the instrument to a holder. UCC § 3-412. Moreover, this obligation to pay arises even if the person seeking to enforce the instrument has notice of the party’s accommodation status. UCC § 3-419(c). Thus, unless Mom has some other valid defense to payment (*see* Points Two and Three, below), the fact that she signed for accommodation will not relieve her of her obligation to pay the instrument according to its terms to a person entitled to enforce it.

Acme is a holder of the note because Uncle indorsed the note to Acme, which took possession of it. *See* UCC § 1-201(20) (definition of holder). As a holder, Acme has a right to enforce the note against any party who signed it. *See* UCC §§ 3-301 (right of party to enforce an instrument), 3-401(a) (effect of signature). Thus, Mom has an obligation to pay Acme unless Mom can assert a valid defense to payment that is good against Acme.

[NOTE: The analysis and result are unchanged under the 2003 Revisions to Article 3-419. *See* Revised Article 3, § 3-419(e).]

Point Two: (30-40%)

Acme is not subject to Mom’s defense of unauthorized negotiation. Acme had no notice of the oral agreement among Uncle, Nephew, and Mom regarding a limitation on Uncle’s power to negotiate the note. Acme gave value for the note in good faith. Thus, Acme is a holder in due course and can enforce the note against Mom free of any defense she could have asserted against Uncle.

Mom has a defense based on Uncle’s breach of his agreement not to enforce or negotiate the note. *See* UCC § 3-117 (separate agreement modifying an obligation in a note can provide a defense to payment). The problem for Mom is that Acme appears to be a holder in due course of the note. Acme gave value for the note, taking it in good faith (from all that appears in the facts). The agreement restricting Uncle’s right to negotiate the note does not appear on the face of the note, and Acme had no notice of that oral agreement. So Acme gave value in good faith and without notice of any defenses to the note. It is therefore a holder in due course. As a holder in due course, Acme took the note free of ordinary defenses, including Mom’s defense of unauthorized negotiation. *See* UCC §§ 3-302(a) (requisites of holder in due course status), 3-305(b) (defenses applicable to a holder in due course).

[NOTE: The analysis is unchanged under Revised Article 3.]

Point Three: (20-30%)

Mom’s liability on the note was not discharged by Acme’s release of Nephew’s liability.

As an accommodation party, Mom is liable to Acme if Nephew does not pay the full amount of the note, and this liability survives even if Acme discharges Nephew. Section 3-605(b) of the UCC expressly provides that an intentional voluntary discharge of the principal obligor by a

person entitled to enforce a note “does not discharge the obligation of an . . . accommodation party” Mom has a right of recourse against Nephew, and she can seek reimbursement from Nephew to the extent she pays on the note. *See* UCC § 3-419(e). Mom is, of course, only liable to Acme for \$9,000, the amount of the note that remains unpaid.

[NOTE: Revised Article 3 includes significant changes to § 3-605. Those changes would dramatically alter the analysis and result on this issue. This note details the revised analysis.

Because Mom is an accommodation party, she qualifies as a “secondary obligor” on the instrument signed by Nephew. UCC Revised § 3-103(a)(17). As a secondary obligor, Mom has the defenses set out in Revised § 3-605. In particular, when, as here, a person entitled to enforce the instrument releases the obligation of the principal obligor to pay the instrument, then “the secondary obligor is discharged to the same extent as the principal obligor from any unperformed portion of its obligation on the instrument.” UCC Revised § 3-605(a)(2). The person entitled to enforce the instrument could retain rights against the secondary obligor by so specifying in the release, but absent such an explicit retention of rights, the secondary obligor is discharged.

Thus, when Acme accepted \$1,000 and released Nephew from his obligation to pay the remaining amount due on the note, Mom was discharged. There is nothing in the facts to indicate that Acme expressly retained its rights against Mom.]

TRUSTS AND FUTURE INTERESTS I.B.2., II.A., B.

ANALYSIS

- Legal Problems:
- (1) Does Testator's gift of trust income to friends fail for lack of definite beneficiaries?
 - (2) Does Claimant, as a judgment creditor of Sam, have a right to immediate payment of \$25,000 from the trust?
 - (3) Should the gift to State University fail because State University ceased to exist shortly after Testator's death, or should it be paid to another charity?

DISCUSSION

Summary

The trust's income should be paid to Donna, the residuary legatee under Testator's will, because the gift of the income fails for want of definite beneficiaries. As to the principal, nothing should be paid to Claimant before the trust terminates because Claimant's rights cannot exceed those of Sam, the trust beneficiary, and Sam only has a right to receive trust principal after 10 years. When the trust terminates, one half of the corpus should pass to Sam and the other half, in all likelihood, to State Polytech, as a result of the probate court's exercise of its *cy pres* power.

Point One: (35-45%)

Trustee should pay the trust income to Donna, the residuary taker, because the gift of income to Testator's friends fails for want of definite beneficiaries.

It is a well-established trust law principle that a private express trust must have definite beneficiaries. *See* UNIF. TRUST CODE (UTC) § 402(a)(3). The term "friends" is indefinite because it is impossible to determine the precise number of persons who fit this description. *Clark v. Campbell*, 133 A. 166 (N.H. 1926) (a leading case invalidating a trust where the trustee had the discretion to select among friends). Although the modern trend would allow a trustee to select a beneficiary from an indefinite class (*see* UTC § 402(c)), this liberalized position does not apply if the trustee must distribute equally to all members of an indefinite class. *See* WILLIAM M. MCGOVERN JR. & SHELDON F. KURTZ, *WILLS, TRUSTS, AND ESTATES* at 377-79 (3d ed. 2004). Here the trust instrument requires Trustee to distribute income equally among all of Testator's friends. Thus, the income portion of the trust fails for want of definite beneficiaries. The fact that Walter and Janice may have been friends of Testator's does not entitle them to any distribution because the income must be distributed equally among all of Testator's friends.

Where an attempt to create a trust fails, the trustee holds a resulting trust for the settlor or the settlor's successors in interest. *See* RESTATEMENT (THIRD) OF TRUSTS § 8. Where a testamentary trust, as here, fails, the residuary legatee succeeds to the property interest. *See id.* Donna, the residuary legatee under Testator's will, would be Testator's successor-in-interest of the resulting trust. Accordingly, Trustee should pay over trust income to Donna during the trust term.

It could be argued that the income for the first ten years either should be accumulated for ultimate distribution to the remainder beneficiaries or, alternatively, should be distributed to the presumptive remainder beneficiaries currently. An applicant could reasonably argue in favor of accumulating trust income for ultimate distribution to the remainder beneficiaries when the trust terminates. However, because the trust prohibited a distribution to Sam and State University earlier than 10 years after Testator's death, the trust should not terminate under the acceleration of remainder doctrine. This fact makes the alternative of current income distribution to the remainder beneficiaries less likely.

Point Two: (30-40%)

Trustee should not immediately pay over \$25,000 to Claimant because, as a creditor of a trust beneficiary, Claimant's rights cannot exceed those of Sam, the beneficiary, and Sam has only a right to half of the principal in 10 years.

A creditor may reach a beneficiary's interest in a trust if the trust does not contain a spendthrift provision. *See* UTC § 501. But a beneficiary's creditor can have no greater rights in trust assets than the beneficiary, and a beneficiary of trust principal is not entitled to trust principal until the termination of all preceding estates. *See* RESTATEMENT OF PROPERTY § 156 (remainder as future right to property); RESTATEMENT (THIRD) OF TRUSTS § 2, cmt. d (trust beneficiaries have equitable estates). Thus, Claimant would not be entitled to any trust principal until the trust terminates. Indeed, if the trust principal were reachable during the 10-year period, then the rights of any income beneficiaries would be adversely affected because their rights are based on income derived from the entire principal.

Therefore, Claimant is not entitled to receive \$25,000 of trust principal. Claimant can only reach what Sam had—a right to receive trust principal after 10 years. Of course, Claimant would be entitled to a \$25,000 distribution from Trustee when the trust terminates, assuming that the judgment against Sam is still outstanding and that his interest in the trust at that time is at least \$25,000.

Point Three: (25-35%)

At the end of the 10-year period, one-half of the trust principal should be distributed to Sam. The other half should be distributed, in all likelihood, to State Polytech in lieu of State University by application of the court's *cy pres* power.

The trust provides that, at the end of ten years, the trust principal shall be distributed equally to Sam and State University. Sam is entitled to half the principal at that time, subject to a possible \$25,000 reduction to pay Claimant. (*See* Point Two.)

The other half of the principal is payable to State University, but this gift cannot be paid because State University no longer exists. However, State University is a charity. It is a well-established principle of trust law that, when a charitable purpose cannot be carried out, the court should determine whether to exercise its *cy pres* power and redirect the charitable gift to another like charity. *See* UTC § 413; RESTATEMENT (THIRD) OF TRUSTS § 67.

The *cy pres* doctrine requires an initial inquiry into the settlor's intent: if the court determines that the settlor had a specific charitable intention limited to the stated charitable purpose, the gift goes to the residuary legatee, in this case Donna. However, if the court determines that the settlor had a general charitable intention, it should substitute for the named charity another charity that is consistent with the settlor's intentions. *Id.* Both the UTC and Restatement (Third) of Trusts presume that a settlor has a general charitable intent. *Id.*

Given the presumption of general charitable intent, there is a strong argument that the court should exercise its *cy pres* power and substitute the fine arts program at State Polytech for that at State University. The will evidences a desire to benefit a fine arts program. It evidences no intention of limiting that benefit to the program at State University. Testator could not have known that State University would cease to exist after his death. The state legislature has already determined that State University's fine arts program largely duplicates that at State Polytech. Substituting State Polytech for State University would maintain Testator's commitment to the fine arts and public education in his state of residence. *Cf.* RESTATEMENT (THIRD) OF TRUSTS § 67 cmt. e (providing that, if the testator leaves money to a particular university to teach courses in dianetics, and the university refuses to accept the funds on that basis, the court may permit the legacy to be applied to the establishment of such a course in another university, assuming the settlor has not provided otherwise).

If the court does not apply the *cy pres* doctrine, the gift to charity fails and the share State University was intended to receive either passes wholly to Sam as the only remainder beneficiary or wholly to Donna, the residuary legatee under Testator's will.

FEDERAL CIVIL PROCEDURE IV.D.

ANALYSIS

- Legal Problems:
- (1) Are accident and investigative reports discoverable when they are prepared in the ordinary course of business and not in anticipation of any immediately pending litigation?
 - (2) Is information in a bus operator's personnel file about the operator's driving record, safety record, and disciplinary record discoverable in an action against the bus operator's employer that alleges the bus operator was driving negligently?

DISCUSSION

Summary

The motion to compel should be granted in part and denied in part. Federal Rule of Civil Procedure 37(a) provides that a party may be compelled to provide discovery. Here, the accident and investigative reports are not trial preparation materials that are protected under Fed. R. Civ. P. 26(b)(3). They are routine reports that were not prepared in anticipation of litigation. Records in the operator's personnel file regarding his driving and safety record are relevant and discoverable under Fed. R. Civ. P. 26(b)(1). That information is related to his driving skills and his employer's potential liability. On the other hand, the operator's disciplinary records may not be discoverable. While some disciplinary information may relate to the issues in the case, other disciplinary information may have nothing whatever to do with the bus operator's driving skills, and its disclosure would serve simply to harass and embarrass the bus operator. A court may order an *in camera* review to excise irrelevant material before allowing release of the personnel file.

Point One: (35-45%)

The motion to compel production of the accident and investigative reports should be granted because they were not prepared in anticipation of litigation.

Under Fed. R. Civ. P. 26(b)(1), a party "may obtain discovery regarding any matter, not privileged, that is relevant to [a] claim or defense" in the action. Relevant information is discoverable even if it would be inadmissible at trial, so long as "the discovery appears reasonably calculated to lead to the discovery of admissible evidence." FED. R. CIV. P. 26(b)(1). There is no question that the bus operator's accident report and his supervisor's investigative report satisfy this relevancy requirement.

On the other hand, Fed. R. Civ. P. 26(b)(3) protects trial preparation materials from discovery. Materials “prepared in anticipation of litigation or for trial by [a] party” are discoverable only if the party seeking discovery can show a “substantial need” for the materials and an inability “without undue hardship to obtain the substantial equivalent of the materials by other means.” FED. R. CIV. P. 26(b)(3).

Thus, the crucial question is whether the accident reports that the bus operator and the supervisor completed were “prepared in anticipation of litigation” within the meaning of this rule. *Broadnax v. ABF Freight Sys., Inc.*, 180 F.R.D. 343, 346 (N.D. Ill. 1998). On the facts of this problem, they were not. Both the bus operator’s report and the supervisor’s report appear to be standard Transit Authority business records that are routinely prepared in the event of an accident. The facts say that the bus operator was following standard procedure when he called his supervisor and when he completed the “Operator’s Report of Accident” form. Similarly, the supervisor was following standard procedure when she went to the accident scene and completed the “Supervisor’s Investigative Report” form. While Transit Authority may honestly claim that it has such procedures precisely because it “anticipates” that there may be litigation whenever there is an accident, routinely prepared records that are completed in the regular course of business do not become trial preparation materials merely because the business anticipates that they might be useful in litigation.

The timing for completion of the reports supports the conclusion that they were not prepared in anticipation of litigation. The bus operator began to complete his report immediately after the accident occurred. The supervisor completed the investigative report on the same day of the accident and within one hour of the time that the accident occurred. Accident and investigative reports like the ones described here are protected from discovery only when they are prepared in response to a threat of imminent litigation. *Id.*; *Wikel v. Wal-Mart Stores, Inc.*, 197 F.R.D. 493 (N.D. Okla. 2000). There was no threat of litigation when these reports were completed. Therefore, these materials are discoverable. *Id.*; *see also* FED. R. CIV. P. 26(b)(3) (Advisory Committee’s note).

Point Two: (55-65%)

Under Fed. R. Civ. P. 26(b)(1), the bus operator’s driving and safety records are relevant because they address his driving skills and care in a case that involves his alleged negligent driving, but his disciplinary record may not be relevant. Thus, the court is likely to order disclosure of the personnel file, but it may restrict disclosure or use of the information in some fashion.

As noted above, parties to an action “may obtain discovery regarding any matter, not privileged, which is relevant to the claim or defense of any party.” FED. R. CIV. P. 26(b)(1). Even if not directly relevant to a claim or defense, a matter that is relevant to the general “subject matter involved in the action” may be discovered if the court determines that there is good cause for such discovery. *Hill v. Motel 6*, 205 F.R.D. 490, 492 (S.D. Ohio 2001). The facts and the circumstances of each particular case determine the relevancy of information that a party seeks during discovery. *Id.* Accordingly, in its discretion, and in light of the facts of each case, the court decides whether the requested information is relevant. *Coleman v. American Red Cross*, 23 F.3d 1091, 1096 (6th Cir. 1994).

Personnel records are discoverable, *Goldman v. Checker Taxi Co.*, 325 F.2d 853 (7th Cir. 1963), despite frequent claims that they should be protected for privacy reasons, *Gohring v. Case Corp.*, 43 F.3d 340, 342-43 (7th Cir. 1994). Where discovery is resisted, the court must balance the interest of the party seeking discovery against any alleged privacy interest that would be infringed by disclosure. *Eckstein Marine Serv., Inc. v. M/V Basin Pride*, 168 F.R.D. 38 (W.D. La. 1996).

Here, Tourist has alleged that the bus operator was negligent. To the extent that the driving and safety records in the personnel file include material about this accident, they are clearly relevant to Tourist's claim. The bus operator's more general driving and safety records are a closer question. If they reveal a pattern of poor driving, they might be relevant to the claim against Transit Authority.

Even if it cannot be shown that the driving and safety information is directly relevant to the specific claim in this case, this seems a good case for showing good cause to compel production of the information because it is relevant to the subject matter of the lawsuit. An investigation of the bus operator's driving and safety record might lead to information of direct benefit to Tourist's case. Therefore, information in the bus operator's personnel file about his driving skills, including his driving record and any other accident reports, is discoverable. The motion to compel production of the personnel file should be granted, with respect to the driving records.

Regarding the bus operator's disciplinary records, the discovery request is much more troubling. The personnel record may well contain disciplinary information about the bus operator that could be entirely irrelevant to the action and that would be embarrassing and damaging to the bus operator if disclosed (*e.g.*, that he has been disciplined for sexual harassment). On the other hand, it is conceivable that the records might include evidence that could bolster Tourist's case, such as evidence of disciplinary action taken against the bus operator for driving-related behavior.

Under these circumstances, a court may limit Tourist's access to the bus operator's personnel files by restricting access to those portions deemed clearly relevant to the action. *See Rintchen v. Walker*, 1996 WL 238701 at *4 (E.D. Pa. 1996) (requiring defendants in an action alleging driving negligence to make available information in a personnel file including driving records and disciplinary records related to his driving skills, but forbidding disclosure of other information). Alternatively, a court might order an *in camera* review of the records to determine whether they contain anything of "a particularly sensitive or private nature" that warrants protection. *See Eckstein Marine Serv.*, 168 F.R.D. at 40-41. Or, a court may order release of the entire file but enter a confidentiality order restricting access to the file to attorneys and parties reviewing it for purposes of the litigation. *Id.*

ANALYSIS

- Legal Problems:
- (1) (a) Does a court have jurisdiction to grant a divorce when one spouse has no contacts with the forum state?
 - (b) Does a court have jurisdiction to divide marital property when one spouse has no contacts with the forum state?
 - (2) May a spouse who did not consent to a separation and believes that reconciliation is possible successfully oppose a divorce petition brought on grounds of separation and irreconcilable differences?
 - (3) When are assets owned by one spouse subject to division at divorce?

DISCUSSION

NOTE: Applicants answering this question in a community property state should use community property principles. For this purpose, the phrase “marital property” means community property.

Summary

A court that lacks personal jurisdiction over one spouse may grant a divorce, but may not issue a binding property division or support order. On the facts of this case, Husband could secure a divorce without Wife’s consent and despite Wife’s claim that the marriage could be saved if Husband entered counseling.

In all states, a court may divide marital property regardless of which spouse holds title. Property acquired during the marriage with employment income is marital property subject to division; inherited property and property acquired before marriage are separate property that is typically not subject to division. If the value of a separate asset is increased through marital funds or significant spousal labor, it may be apportioned into separate and marital components.

Point One(a): (15-25%)

A court that lacks jurisdiction over one spouse may grant a divorce.

Jurisdiction over both spouses is not necessary to dissolve a marriage. If the plaintiff spouse is a domiciliary of the forum state, courts of that state have jurisdiction to dissolve the plaintiff’s

marriage. In *Williams v. North Carolina*, 317 U.S. 287 (1942) (“*Williams I*”), the United States Supreme Court likened a divorce action to an *in rem* proceeding in which the *res* is marital status. The court found that each spouse “carried” the marital status to the forum state when he or she established a new domicile in that state; thus a state court may grant its domiciliary’s divorce petition as long as he or she has satisfied the state’s jurisdictional requirements.

Domicile—residence with the intent to remain indefinitely—is a question of fact. See *Williams v. North Carolina*, 325 U.S. 226, 229-30 (1945) (“*Williams II*”). On these facts, Husband is almost certainly a domiciliary of State B. Husband moved to State B one year ago; he rented an apartment and obtained employment there; he has indicated that he never intends to return to State A. State B could thus grant Husband a divorce.

Point One(b): (15-25%)

A court that does not have jurisdiction over both spouses may not issue a binding property division order.

In an *ex parte* divorce, the court’s jurisdiction extends only to the marriage itself. Unless the court also has personal jurisdiction over the defendant spouse, it may not issue a binding order affecting personal rights such as property division. The divorce decree is thus “divisible.” See *Estin v. Estin*, 334 U.S. 541 (1948).

Unless the defendant is personally served within the forum state, a court does not have personal jurisdiction over a defendant who lacks “minimum contacts” with the state. See *Kulko v. Superior Court*, 436 U.S. 84 (1978). Wife was served with Husband’s divorce petition in State A. She has never been to State B; indeed, she knows no residents of State B except Husband. A State B court thus may not issue a binding support or property division order.

[NOTE: An applicant could receive extra credit for noting that a State B court could issue a binding property division order if Wife decided to participate in the State B divorce action. When both spouses participate in the divorce proceeding, principles of preclusion apply; because the participating spouse could have raised the jurisdictional issue in the forum state, he or she is bound by the forum state’s determination on this issue. See *Sherrer v. Sherrer*, 334 U.S. 343 (1948).]

Point Two: (20-30%)

A court may order a divorce based on separation and irreconcilable differences even if the separation was nonconsensual and one spouse believes that reconciliation is possible.

In virtually all states, a spouse may obtain a divorce without a showing of fault or consent of the other spouse. The typical basis for a no-fault divorce is irreconcilable differences, a minimum period of separation, or both. See HARRY E. KRAUSE ET AL., FAMILY LAW: CASES, COMMENTS, AND QUESTIONS 557, 566 (5th ed. 2003).

Today, a no-fault divorce may be granted without any attempt at reconciliation. Even if one spouse establishes that marital discord arose from a curable condition (for example, addiction or profligate spending), the fact that one spouse believes that the marriage can be saved is not an adequate basis to deny the other spouse a divorce. *See, e.g., Hagerty v. Hagerty*, 281 N.W.2d 386 (Minn. 1979); *Eversman v. Eversman*, 496 A.2d 210 (Conn. App. Ct. 1985).

In states that require a minimum period of separation as the basis for a no-fault divorce, separation need not be consensual. *See, e.g., HOMER H. CLARK, THE LAW OF DOMESTIC RELATIONS IN THE UNITED STATES* 517-18 (2d ed. 1988). The mandated period of separation is usually one year or less.

Thus, any effort by Wife to prevent the divorce would be unsuccessful. The parties have been separated for a year, Husband appears determined to secure the divorce, and Wife's belief that the marriage can be saved is legally irrelevant.

Point Three: (30-40%)

Assets acquired before marriage or by inheritance are separate, not marital, property. In most states, neither separate property nor appreciation in its value is subject to division at divorce. However, the use of marital funds to add value or obtain increased equity in separate property creates marital property. Property acquired during the marriage with marital funds is marital property.

In all states, marital property is divided at divorce without regard to how that property is legally titled. Thus, the fact that the marital home, the stock, and the bonds are titled in Husband's name alone is not determinative of how the assets should be divided.

In a majority of states, "marital property" may be divided between the spouses, but "separate property" remains the property of the owning spouse. In a minority of "hotchpot" jurisdictions, the court may divide all assets, whenever or however acquired; a few states permit the division of separate property in special circumstances, such as hardship.

An asset is marital property if it was acquired during the marriage by any means other than gift, descent, or devise. An asset that is initially separate property may be transformed into marital property if marital funds or significant effort by the owner-spouse during the marriage enhances its value or build equity. The fact that a separate asset appreciates in value during the marriage does not in itself transform that asset into marital property. *See KRAUSE ET AL., supra*, at 752, 763-64.

If State A is a majority jurisdiction, Husband's stock would be classified as separate property, the bonds as marital property, and the marital home as partly separate and partly marital. The stock was inherited, and there is no evidence that its value has been enhanced by Husband's efforts or with marital funds. The bonds, on the other hand, were purchased with marital property (money Husband earned during the marriage) and are therefore marital property. The marital home was purchased before the marriage, but with a mortgage; employment income was used to reduce the mortgage indebtedness and obtain additional equity in the house. In most states, such

equity-building payments create marital property. *See* J. THOMAS OLDHAM, DIVORCE, SEPARATION AND THE DISTRIBUTION OF PROPERTY § 7.05 (2006) (describing apportionment principles and noting that, in a few states, installment payments create only a marital lien against the value of the separate asset).

Thus, Wife is entitled to have a court make an equitable division of the bonds and the post-marriage increase in Husband's home equity. In most states, however, Husband's stock would be separate property, not subject to division upon divorce.

DECEDENTS' ESTATES II.I.7., I.9., K.

ANALYSIS

- Legal Problems:
- (1) How many shares of XYZ Company stock is Brother entitled to claim?
 - (2) What is the effect of Sister's disclaimer?
 - (3) Does the inter vivos gift of \$5,000 satisfy the bequest to Uncle?
 - (4) Given that there are insufficient assets to carry out all of Testator's directions, how should the bequests abate?

DISCUSSION

Summary

Sister's disclaimer effectively deletes her bequest from the will. The treatment of the remaining bequests turns on their classification. The specific bequest to Brother entitles him to 100 shares under the common law view and 106 shares under the Uniform Probate Code and like statutes. The general bequest to Uncle is not satisfied by the inter vivos gift. The general bequest to Uncle and the general bequest to Cousin will be abated pro rata. There are insufficient assets to satisfy the residuary bequest to Polytech. If Brother is not entitled to the six additional shares, two of them go to Uncle and four of them to Cousin in payment of their general legacies.

Point One: (20-30%)

Whether Brother is entitled to 100 or 106 shares of XYZ stock depends on whether state law allocates stock dividends to a specific legatee.

The bequest to Brother of "my 100 shares" is a specific bequest. Many states hold that a stock dividend, like a cash dividend, is a property interest distinct from stock given by specific bequest. In these states, Brother is entitled only to 100 shares of XYZ stock. *See Note, Rights to Stock Accretions Which Occur Prior to Testator's Death*, 36 ALB. L. REV. 182, 188-192 (1971); Annotation, *Change in Stock or Corporate Structure, or Split or Substitution of Stock of Corporation, as Affecting Bequest of Stock*, 46 A.L.R.3d 7 §§ 8, 9 (1972).

In states that have adopted Uniform Probate Code § 2-605 or a like statute, a stock dividend is treated like a stock split instead of a cash dividend. Under this approach, which aims to maintain the legatee's percentage of ownership in the corporation, Brother is entitled to all 106 shares.

Point Two: (20-30%)

The effect of Sister's disclaimer is that the property passes as if Sister had failed to survive Testator.

At common law and under the Uniform Probate Code, Sister's disclaimer causes Testator's property to pass as if Sister had failed to survive Testator. *See* UNIF. PROBATE CODE § 2-1106 (current version, incorporating the 1999 Uniform Disclaimer of Property Interests Act); UNIF. PROBATE CODE § 2-801 (earlier versions). Because Sister has no descendants who survive Testator, the state's anti-lapse statute will not be applicable to the bequest to Sister. The \$3,000 bequest to Sister lapses.

Point Three: (20-30%)

The inter vivos gift of \$5,000 does not satisfy the bequest to Uncle.

The bequest of \$5,000 to Uncle is a general pecuniary bequest. Under the common law, an inter vivos gift made after a will's execution can satisfy a general bequest, but only if the testator so intends. Here, there is no evidence of such intention. Moreover, no presumption of such intention exists where, as here, the testator does not stand in loco parentis to the legatee. *See* THOMAS E. ATKINSON, HANDBOOK OF THE LAW OF WILLS § 133 (2d ed. 1953). Uniform Probate Code § 2-609 produces the same result because none of the statutory bases for satisfaction of a bequest by inter vivos gift have been met: the will does not provide for deduction of the gift, and neither the testator nor the legatee has declared in a contemporaneous writing that the gift is in satisfaction of the bequest.

Point Four: (20-30%)

The bequests abate according to their classifications, hence in the following order: first the residuary gift to Polytech, then the general gifts to Uncle and Cousin, pro rata, and last, the specific gift to Brother.

Under both the common law and the Uniform Probate Code, the shares of distributees abate in the following order: (1) property not disposed of in the will, (2) residuary gifts, (3) general gifts, and (4) specific gifts. Abatement within each category is pro rata. *See* UNIF. PROBATE CODE § 3-902; WILLIAM M. MCGOVERN JR. & SHELDON F. KURTZ, WILLS, TRUSTS, AND ESTATES § 8.2 (3d ed. 2004). Thus, the residuary gift to Polytech abates first; Polytech receives nothing. The general gifts to Uncle and Cousin abate next and pro rata, meaning that the 1-to-2 ratio of Uncle-to-Cousin is maintained. Thus, Uncle and Cousin receive \$3,000 and \$6,000, respectively, plus (under the majority view but not under the Uniform Probate Code) two and four shares, respectively, of XYZ Company stock. Finally, Brother receives the XYZ Company stock to which he is entitled: 100 shares under the common law view and 106 shares under the Uniform Probate Code and like statutes.

AGENCY AND PARTNERSHIP IX.A., B.

ANALYSIS

- Legal Problems:
- (1) Is a limited partner entitled to (a) copies of contracts between the limited partnership and entities related to or controlled by the general partner, (b) copies of contracts generally between the limited partnership and other entities, (c) copies of the limited partnership's federal and state tax returns, and (d) copies of all correspondence between the limited partnership and all other parties for a five-year period?
 - (2) If the limited partners remove the general partner, are they by that act alone liable to persons who transact business with the partnership?
 - (3) If the limited partners, after removing the general partner, run the limited partnership until a replacement general partner can be found, are they liable to persons who transact business with the partnership?

DISCUSSION

Summary

Limited partners have a right to obtain from the general partner "upon reasonable demand" information regarding the state of the business and financial condition of the limited partnership, copies of tax returns, and such other information regarding the partnership's affairs as is just and reasonable. In this case, the tax returns are clearly required to be disclosed, the contracts are required to be disclosed under both the financial condition requirement and the other information requirement, and the correspondence is probably required to be disclosed under the other information requirement (although a court could conclude that the request is unreasonably broad).

Limited partners have the right to remove a general partner without that act being treated as an exercise of "control" of the limited partnership and without becoming liable for the limited partnership's obligations.

If, following removal of the general partner, the limited partners choose to run the partnership's business, then they will be exercising control over the limited partnership and each limited partner will be liable to persons who reasonably believe, based upon the limited partner's conduct, that the limited partner is acting as a general partner. Aggressive disclosure of the limited partners' status as limited, but not general partners, could limit such liability.

Point One: (40-50%)

A limited partner is absolutely entitled to copies of tax returns and is entitled to such copies of contracts and correspondence as is just and reasonable.

Under the Revised Uniform Limited Partnership Act (RULPA), a limited partner has a right to “inspect and copy” partnership records that are required to be kept pursuant to § 105 of the Act, and, in addition, to obtain from the general partner “upon reasonable demand”:

“true and full information regarding the state of the business and financial condition of the limited partnership,” RULPA § 305(2)(i);

“promptly after becoming available, a copy of the limited partnership’s federal, state, and local income tax returns for each year,” RULPA § 305(2)(ii); and

“other information regarding the affairs of the limited partnership as is just and reasonable.” RULPA § 305 (2)(iii).

In some jurisdictions, the reasonableness of a demand will depend, in part, on the purpose for which the limited partner is seeking disclosure. *See, e.g., Madison Ave. Inv. Partners, LLC v. America First Real Estate Inv. Partners, LP*, 806 A.2d 165 (Del. Ch. 2002). Where, as here, the limited partner has substantial reason to suspect mismanagement of the limited partnership and wishes to obtain partnership documents to investigate the matter, the limited partner has a right to access those documents. *Id.*; *Somerville S Trust v. USV Partners, LLC*, 2002 WL 1832830 (Del. Ch. 2002).

Baker probably acted improperly in refusing to provide information in response to Tim’s request for “copies of contracts between the limited partnership and entities related to or controlled by the general partner.” This request should be covered under the first subsection of the Act because such information relates to the “business and financial condition of the limited partnership.” In addition, where there is a suggestion that a general partner is engaged in self-dealing, a limited partner’s request for specific information that would confirm or disprove that suggestion is surely “just and reasonable.”

Tim’s demands for “copies of contracts generally between the limited partnership and other entities” are also probably covered under the first and third subsections for the same reasons. Such information is potentially relevant both to the general “business and financial condition” of the partnership and to the possibility that Baker has been self-dealing.

The request for copies of the limited partnership’s federal and state tax returns is specifically covered under the second subsection of the statute. In addition, tax returns are documents that the limited partnership is required to keep and that a limited partner may inspect and copy at any time. RULPA § 305(2)(ii).

Tim’s request for “copies of all correspondence between [the limited partnership] and any other parties for the past five years” may go too far. This request must be honored, if at all, only if the request is “just and reasonable” under the third subsection of the statute. Whether a demand for

copies of all correspondence is “just and reasonable” is certainly debatable. Under the circumstances, Tim would claim that it is a reasonable demand that would provide information useful in determining whether Baker was properly managing the business. Baker would claim that the request goes far beyond what is reasonable, and is essentially an effort to delve into all the files of the business on a fishing expedition for evidence of wrongdoing.

Point Two: (20-30%)

Limited partners are not liable as general partners simply for removing a general partner.

A limited partner is generally not liable for the obligations of a limited partnership. RULPA § 303(a). *See, e.g., Zeiger v. Wilf*, 755 A.2d 608 (N.J. Super. App. Div. 2000). However, a limited partner can become so liable if “in addition to the exercise of his [or her] rights and powers as a limited partner, he [or she] participates in the control of the business.” RULPA § 303(a). Thus, the question as to whether the limited partners would be liable for partnership obligations were they to remove Baker as general partner would be resolved by determining whether the act of removing the general partner would be “participat[ion] in the control of the business.” *Id.*

Because of the inherent “difficulty of determining when the ‘control’ line has been overstepped,” RULPA (and the parallel laws of most states) specifically enumerates certain activities in which a limited partner may engage “without being deemed to have taken part in control of the business.” § 303(b), official cmt. This so-called “safe harbor” list of activities that do not constitute the exercise of control provides specifically that a “limited partner does not participate in the control of the business” for purposes of incurring liability under § 303(a) “solely by . . . proposing [or] voting [on the] . . . removal of a general partner.” § 303(b)(6)(v). Thus, the limited partners in Astoria may remove Baker as general partner without incurring liability for the limited partnership’s obligations.

In states that have adopted the 2001 Uniform Limited Partnership Act, the situation is even clearer. Limited partners are “not personally liable, directly or indirectly, by way of contribution or otherwise, for an obligation of the limited partnership solely by reason of being a limited partner, even if the limited partner participates in the management and control of the limited partnership.” 2001 UNIF. LTD. P’SHIP ACT § 303. The new Act provides the limited partners a “full, status-based liability shield” akin to the protection given corporate shareholders. *Id.*, official cmt.

Point Three: (20-30%)

Limited partners who participate in the control of the business can be held liable for the obligations owed by the limited partnership, but only to those persons who transact business with the limited partnership in the reasonable belief that the limited partner is a general partner.

Limited partners can become liable for the obligations of the limited partnership if they participate in the control of the business in ways not within the safe harbor exceptions in RULPA § 303(b). In particular, Tim’s suggestion that Tim, Uma, and Vivian jointly “run the limited partnership” after removing Baker from the role of general partner appears to contemplate a

degree of involvement in the business of the partnership that exceeds what is permitted by any of the safe harbor exceptions. Moreover, the facts suggest that this management and control of the business would necessarily constitute “participat[ion] in the control of the business,” as the removal of Baker would leave no one but the limited partners in control.

Participation in the control of the business can make a limited partner liable for the obligations of the limited partnership, but that liability extends only to “persons who transact business with the limited partnership reasonably believing, based upon the limited partner’s conduct, that the limited partner is a general partner.” RULPA § 303(a). Thus the limited partners could attempt to limit their liability when running the business by giving all the parties with which the limited partnership does business notice that they are limited, not general, partners. *See, e.g., Folgers Architects, Ltd. v. Kerns*, 612 N.W.2d 539, 550-51 (Neb. Ct. App. 2000), *rev’d in part and aff’d in part on other grounds*, 633 N.W.2d 114 (Neb. 2001).

In some jurisdictions, however, liability could be imposed, even without third-party reliance, if “a limited partner’s control activities are so extensive as to be ‘substantially the same as’ those of a general partner.” *Zeiger v. Wilf*, 755 A.2d 608, 618 (N.J. Super. App. Div. 2000). In these jurisdictions, Tim, Uma, and Vivian would be well-advised to make their limited role clear and to search diligently for a replacement general partner to make clear that their temporary control did not amount to taking on a role “substantially the same” as that of a general partner.

As noted earlier, the 2001 Uniform Limited Partnership Act “renders the control rule extinct.” 2001 UNIF. LTD. P’SHIP ACT § 303, official cmt. Under this Act, Tim, Uma, and Vivian would have no liability for partnership obligations even if they participated directly in the management and control of the limited partnership.

SECURED TRANSACTIONS II.D., IV.B., IV.F.

ANALYSIS

- Legal Problems:
- (1) Was the financing statement filed by National Bank sufficient to perfect its security interest in the monies owed to Feagle by Hotel Corporation?
 - (2) Was National Bank's security interest in the monies owed to Feagle by Hotel Corporation perfected automatically because National Bank did not receive a "significant part" of Feagle's accounts?
 - (3) As between National Bank's unperfected interest and State Bank's perfected interest, whose interest prevails?

DISCUSSION

Summary

National Bank's financing statement was insufficient to perfect its interest in the Hotel Corporation account because the financing statement was filed under Feagle's trade name rather than under its true corporate name. Moreover, the facts suggest that the Hotel Corporation account constituted a significant part of Feagle's accounts, thus precluding National Bank's interest from being perfected automatically. By contrast, State Bank filed a proper financing statement and had a perfected security interest in Feagle's accounts, including the Hotel Corporation account. State Bank's perfected security interest has priority over National Bank's unperfected interest, even though State Bank acquired its interest three months after National Bank.

Point One: (35-45%)

Security interests in accounts may be perfected by a financing statement that complies with Code requirements; a filing in the name of a debtor's trade name instead of its official corporate name is not effective unless the trade name is so similar that it is not seriously misleading.

National Bank obtained a security interest in the monies owed by Hotel Corporation to Feagle by having Feagle sign an agreement granting National Bank an interest in the specified collateral. That collateral—the monies owed to Feagle by Hotel Corporation—is an "account" for purposes of Article 9 of the UCC. *See* UCC § 9-102(2) (a "right to payment . . . for services rendered or to be rendered" is an "account"). A security interest in accounts must ordinarily be perfected by filing a proper financing statement in the appropriate government office. UCC § 9-310(a).

In this problem, National Bank filed a financing statement, but the financing statement was ineffective. In order to be effective, a financing statement must sufficiently provide the name of the debtor. UCC § 9-502(a)(1). Where the debtor is a registered organization such as a corporation, the financing statement must use the official registered corporate name of the debtor. UCC § 9-503(a)(1). A financing statement that provides only the debtor's trade name does not sufficiently provide the name of the debtor. UCC § 9-503(c).

Although the UCC forgives minor errors that do not render the financing statement seriously misleading, UCC § 9-506(a), an error in the debtor's name is seriously misleading unless a search of the records under the debtor's correct name (Feagle Construction Company, Inc.) using the filing office's standard search logic would disclose the financing statement. UCC § 9-506(b), (c). Because of the complete dissimilarity between the trade name (On Top Roofing) under which the financing statement was filed and the debtor's correct name (Feagle), this financing statement would be found ineffective and National Bank's security interest will not be perfected by filing.

Point Two: (35-45%)

A security agreement in accounts may be perfected automatically if the assignment of accounts did not transfer a significant part of the assignor's outstanding accounts to the creditor. Given that the Hotel Corporation account appears to constitute a significant portion of all Feagle's outstanding accounts, and considering that National Bank is a professional lender, not a casual or isolated lender, National Bank's security interest will probably not be considered to have been automatically perfected.

In addition to providing for perfection of a security interest in accounts by filing, the UCC provides for perfection upon attachment (known as automatic perfection) for assignments of accounts that do not "transfer a significant part of the assignor's outstanding accounts" to the secured party. UCC § 9-309(2). Under the facts given, National Bank received an assignment of only one of Feagle's several outstanding accounts. However, the single Hotel Corporation account was, at the time of default, worth more than all Feagle's other accounts combined. The question, then, is whether this assignment of a single account was a transfer of "a significant part" of Feagle's outstanding accounts.

The UCC gives no guidance on the meaning of "significant part," but National Bank will have a difficult time arguing that an account amounting to more than 50 percent of the total value of Feagle's accounts is not significant. Moreover, the comments to UCC § 9-309(2) suggest that its purpose is to protect "casual or isolated assignments . . . which no one would think of filing," and that persons who "regularly" take assignments should file. National Bank took the assignment from Feagle as a part of a normal secured financing arrangement; it was a standard business transaction of the sort that almost always includes the filing of a financing statement. Indeed, National Bank did file (albeit ineffectively).

On these facts it is highly likely that a court would conclude that National Bank's interest was not automatically perfected.

Point Three: (10-20%)

State Bank has first priority because its interest is perfected while National Bank's is not.

A perfected security interest has priority over a conflicting unperfected interest. UCC § 9-322(a). Because National Bank's interest was unperfected (*see* Points One and Two) and State Bank's interest was perfected, State Bank has priority under the UCC.

[NOTE: If an applicant mistakenly concludes that National Bank's interest was perfected either by filing or automatically, then the applicant should conclude that National Bank would have priority over State Bank under the "first to file or perfect" rule. UCC § 9-322(a). Consider giving full credit for Point Three in this circumstance, at least if the applicant's answer shows a full understanding of the priority rules and is wrong only because the applicant erroneously concluded that National Bank's interest was perfected.]

July 2007
Questions

MEE Question 1

Baker is a renowned pastry chef. Café, a sole proprietorship, is a well-known restaurant in need of hiring a pastry chef. Baker and Café's Owner had extensive conversations regarding Baker coming to work at Café. On May 1, a week after those conversations occurred, Baker sent Café a signed letter dated May 1 stating: "I will work for Café as head pastry chef for two years for an annual salary of \$100,000."

On the morning of May 7, Café's Owner telephoned Baker and said: "The \$100,000 is pretty stiff. Could you possibly consider working for less?" Baker replied: "I am a renowned pastry chef. I will not work for any less!"

Later that morning, Café's Owner sent Baker a signed letter by regular mail stating: "You obviously think you are too good for my restaurant. I am no longer interested in hiring you to work at Café."

Later that afternoon, Café's Owner had a change of heart and sent Baker a registered, express-mail signed letter stating: "Okay, if you really won't work for less, I agree to pay you the \$100,000 a year you demand to work as head pastry chef at Café for two years."

On May 10, the registered, express-mail letter was delivered to Baker's office. The regular-mail letter containing the rejection was still on its way. Baker accepted delivery of the registered, express-mail letter from the postal carrier and placed it on his desk without opening it.

On May 11, before Baker read the registered, express-mail letter on his desk, he accepted an offer to work for Restaurant. As a courtesy, Baker called Café's Owner and said, "Sorry, I just took a job at Restaurant. Too bad you couldn't afford me." Café's Owner responded, "You can't work for Restaurant, I already accepted your offer to work at Café for \$100,000 a year."

Does Café have an enforceable contract with Baker? Explain.

MEE Question 2

Al is a citizen and domiciliary of State A. While Al was visiting his parents in State B, he was involved in an automobile accident. Al's sports car was demolished in the accident, but he was miraculously unhurt. He returned to his home in State A shortly after the accident. Bert, a citizen and domiciliary of State B who was the driver of the other automobile involved in the accident, was not so lucky. Bert was seriously injured in the accident and was hospitalized for several weeks.

Shortly after Bert's release from the hospital, Al sued him in the federal district court for State B. Al's complaint properly invoked the court's diversity jurisdiction, alleged that the collision had been caused by Bert's negligence, and sought \$90,000 in damages (the value of Al's demolished sports car).

Bert, who was uninsured and unemployed, failed to answer Al's complaint and did not defend the action, despite having been properly served and having received notice of the action. The court entered a default judgment against Bert for \$90,000. The judgment was not paid, and Al took no steps to enforce it.

One year after the accident, Al died at his home in State A. His estate is being administered by Executor, who is a citizen of State B.

Bert recently filed a timely lawsuit against Executor, as administrator of Al's estate. The lawsuit, filed in state court in State B, alleges that Al's reckless driving was the cause of the accident and that Bert is permanently disabled by the injuries he suffered in the accident. Bert is seeking \$3 million in damages from Al's estate.

Executor filed a timely notice of removal of the state action with the federal district court in State B. She then served the notice on Bert and filed a copy with the State B state court. She also arranged for copies of all records and proceedings in the state court action to be filed with the clerk of the federal district court in State B. Executor then filed a timely motion with the federal district court to dismiss Bert's case with prejudice on the grounds that it was barred by the prior default judgment awarded to Al in his earlier suit against Bert.

Bert has filed a timely motion with the federal court asking it to remand the action to state court on the ground that the requirements for removal are not met on these facts. Alternatively, in the event the federal court retains the action, Bert has asked it to deny Executor's motion to dismiss.

1. Was removal of Bert's claim to federal district court appropriate? Explain.
2. If the federal court retains the action, should it grant Executor's motion to dismiss Bert's suit? Explain.

MEE Question 3

Husband and Wife married eleven years ago when both were age 19 and college students. Husband planned to go to medical school and Wife planned to become an accountant. They decided that Wife would defer her educational plans in order to provide support while Husband completed his medical studies. Accordingly, Wife dropped out of college, took a job as a file clerk, and did all of the household chores in order to allow Husband more time to study. This arrangement continued while Husband completed his remaining three years of college, four years of medical school, and a three-year medical residency. Wife expended all of her earnings to support Husband and herself. Husband made minimal financial contributions to the marriage.

Throughout the marriage, Husband was verbally abusive to Wife and occasionally hit her. Husband was always contrite after these incidents and attributed his behavior to stress resulting from his studies.

Three months before Husband completed his medical residency, he and Wife had an argument. During the argument, Husband assaulted Wife and broke her arm. Wife left Husband and filed a petition for divorce.

Husband suggested to Wife that they meet with a divorce mediator, Mediator. Wife agreed to this proposal. Husband and Wife both gave Mediator information about their assets and incomes. Husband indicated that his post-residency salary would be \$150,000 per year, listed no assets, and listed school debts totaling \$50,000. Wife indicated that her salary was \$30,000 per year and listed no assets. Wife also indicated that she intended to return to college in the fall and that her income would then decline.

Last month, Husband and Wife met with Mediator. Mediator did not explain anything about the mediation process or divorce law, nor did she inform Husband and Wife that they could obtain independent legal advice about any agreement reached through mediation. Instead, Mediator asked Husband for a settlement proposal. Husband proposed that each spouse keep his or her personal property and that Husband bear responsibility for his educational loans. Mediator responded, "That sounds like a fair settlement. I'll prepare the paperwork unless Wife objects." Within the view of Mediator and Wife, Husband tightened his fist and gave Wife a menacing look. Wife said, "I have no objection."

After signing the agreement prepared by Mediator, Wife learned that Mediator was an attorney who had represented Husband's family for many years and that Husband had talked to Mediator about the settlement shortly before their meeting.

No divorce judgment has yet been entered.

Wife has petitioned the trial court to set aside the settlement agreement she and Husband had signed and to award her spousal maintenance of \$25,000 per year for three years.

MEE Question 3

1. On what grounds, if any, could the court set aside the settlement agreement? Explain.
2. If the settlement agreement is set aside, is Wife entitled to spousal maintenance? Explain.

MEE Question 4

Talker is a persuasive salesperson, Fixer is a talented carpenter, and Manager is an experienced small business manager. The three are friends and often discussed going into business together. Two months ago they orally agreed to form a cabinet restoration business and to share profits equally.

The three friends began doing business under the name TFM Restored Cabinets (TFM). Manager collected accounts receivable, paid all bills, and distributed the profits equally among the three. Fixer restored the cabinets, and Talker marketed them. The three friends operated independently in performing their respective duties, but they met periodically to discuss and decide other business matters.

Everything went smoothly until Fixer announced that he intended to hire Crafty to help with the restoration work because there was more work than one carpenter could handle. Talker and Manager opposed hiring Crafty. They believed that most of TFM's customers were attracted by Fixer's reputation and that the business would be harmed if Crafty performed restoration work. Despite their objections, Fixer hired Crafty.

One month later, Crafty quit after Manager refused to pay for the work that Crafty had performed.

1. What is the legal relationship of Talker, Fixer, and Manager? Explain.
2. Did Fixer have authority to hire Crafty on behalf of TFM? Explain.
3. Under what circumstances, if any, could Crafty collect from Talker the wages TFM owes Crafty? Explain.

MEE Question 5

Defendant and Friend were on a hunting trip together. One evening, while watching television in their hunting cabin, Defendant decided to scare Friend, who had fallen asleep in his chair. Defendant loaded his rifle and aimed it at a lamp that was on a table just behind the chair in which Friend was sleeping. Just as Defendant pulled the trigger to shoot the lamp, Friend suddenly sat up and moved into the line of fire. Defendant's bullet hit Friend in the shoulder and seriously wounded him.

Defendant loaded Friend into his car and sped off toward the nearest hospital, which was 15 minutes away. En route, Defendant hit a pothole, lost control of his car, and collided with a telephone pole. Defendant was seriously injured, and Friend suffered further injuries. The accident occurred on a lightly traveled country road, and no other vehicle passed by for 45 minutes.

By the time help arrived, Friend was dead. An autopsy established that Friend bled to death as a result of the combined impact of the gunshot wound and the injuries suffered in the car crash. The coroner concluded that the gunshot wound alone would not have been fatal had Friend received medical treatment within a half hour of the shooting.

Murder is defined as "a killing with malice aforethought." In this jurisdiction, second-degree murder is "all murder that is not deliberate or premeditated." Defendant has been charged with second-degree murder on account of his shooting Friend and Friend's subsequent death.

Is Defendant guilty of second-degree murder? Explain.

MEE Question 6

Owen owned vacant land (Whiteacre) in State B located 500 yards from a lake and bordered by vacant land owned by others. Owen, who lived 50 miles from Whiteacre, used Whiteacre for cutting firewood and for parking his car when he used the lake.

Twenty years ago, Owen delivered to Abe a deed that read in its entirety:

Owen hereby conveys to the grantee by a general warranty deed that parcel of vacant land in State B known as Whiteacre.

Owen signed the deed immediately below the quoted language and his signature was notarized. The deed was never recorded.

For the next eleven years, Abe seasonally planted vegetables on Whiteacre, cut timber on it, parked vehicles there when he and his family used the nearby lake for recreation, and gave permission to friends to park their cars and recreational vehicles there. He also paid the real property taxes due on the land, although the tax bills were actually sent to Owen because title had not been registered in Abe's name on the assessor's books. Abe did not build any structure on Whiteacre, fence it, or post no-trespassing signs.

Nine years ago, Abe moved to State C. Since that time, he has neither used Whiteacre nor given others permission to use Whiteacre, and to all outward appearances the land has appeared unoccupied.

Last year, Owen died intestate leaving his daughter, Doris, as his sole heir. After Owen's death, Doris conveyed Whiteacre by a valid deed to Buyer, who paid fair market value for Whiteacre. Neither Doris nor Buyer knew of the Owen-to-Abe deed. Both Doris and Buyer believed that Owen was the owner of Whiteacre at the time of his death. Buyer promptly and properly recorded the deed from Doris and immediately went into possession of Whiteacre.

Last month Abe returned to State B. When he discovered Buyer in possession of Whiteacre, he sued Buyer for possession.

State B has enacted the following statutes:

1. Actions to recover possession of real property shall be brought within ten years after the cause of action accrues.
2. No conveyance or mortgage of real property shall be good against subsequent purchasers for value and without notice unless the same be recorded according to law.

Who is entitled to possession of Whiteacre? Explain.

MEE Question 7

Sam worked as an administrative assistant to the president of Corporation. In this capacity, Sam had responsibility for opening all of Corporation's mail. If the mail contained any checks, Sam was supposed to secure the indorsement of the president in the name of Corporation and deposit the checks in Corporation's bank account.

One day, Corporation received a \$3,000 check. When the check arrived at Corporation's offices, Sam secretly took it from the mail, concealed it in his coat pocket, and took it home. That night, Sam fraudulently indorsed the check in the name of Corporation. Sam then mailed the check to Lender with instructions to cover a \$3,000 mortgage payment on Sam's home.

Acting in good faith, Lender applied the amount of the check to reduce Sam's indebtedness on his mortgage by \$3,000. Before Lender could deposit the check, Corporation learned of Sam's actions. Corporation told Lender that it owned the check and demanded that Lender return it.

Must Lender return the check to Corporation? Explain.

MEE Question 8

Settlor, age 60, consulted an attorney, Attorney, about the creation of a trust. Settlor gave Attorney a memorandum containing the following information about his family:

<u>Family Members</u>	<u>Relationship</u>	<u>Age</u>
1. Wife	Spouse	48
2. Son	Child	21
3. Daughter 1	Child	16
4. Daughter 2	Child	10
5. Grandchild	Grandchild (Son's child)	1

Settlor also outlined his goals in creating the trust:

1. I want to fully control trust assets and enjoy all trust income until I die.
2. After I die, I want trust assets used to ensure that Wife is comfortably provided for. I also want Wife to be able to use trust assets to reward, in her will, whichever children have been most helpful to her. I don't want Wife to be a trustee; she doesn't have the financial background.
3. After Wife dies, I want my children to get the remaining trust assets. But, of course, if Son dies before Wife, I'd want his share to go to Grandchild.
4. I'm planning to fund the trust with cash and stocks. I may want to add some other assets later, but I'm not sure.

Based on the information provided by Settlor, Attorney drafted the following trust instrument:

SETTLOR TRUST AGREEMENT

1. I appoint Bank as trustee of the Settlor Trust.
2. I direct Bank to hold all assets listed on Schedule A in trust, and I direct Bank to dispose of these assets as follows:
 - a. Bank shall pay all trust income to Settlor during Settlor's lifetime.
 - b. After Settlor's death, Bank shall pay trust income and principal to Wife in such amounts as Bank, in its sole discretion, deems appropriate.
 - c. After Wife's death, Bank shall distribute all remaining trust assets equally among Settlor's surviving children, share and share alike.
3. Bank accepts and agrees to faithfully carry out the terms of this trust.
[Signatures, dates, and acknowledgments are omitted]

SCHEDULE A

12,000 Shares of XYZ Corporation, common stock
\$150,000 (cash)

How would you revise the Settlor Trust Agreement to more fully meet Settlor's stated goals? Explain.

MEE Question 9

Last July Art, Brett, and Chad formed LeaseAll, Limited Liability Company (LLC), to lease personal property to individuals and businesses. Art, Brett, and Chad had equal ownership interests in LLC and entered into a written operating agreement (OA). Under the OA, only Art had authority to manage the business, to hire and fire employees, and to buy and sell real and personal property. Art contributed a business plan and his expertise to the leasing business, and Brett and Chad each contributed \$50,000 to the capital of LLC.

Over the next year, Brett and Chad did not participate in the business. No meetings were held, and Art did not provide Brett or Chad with any information about LLC. In accordance with the business plan, Art purchased, in the name of LLC, a building and inventory for the leasing business.

Things have not gone well for LLC. Its initial capital is exhausted, and the cash generated by operations is inadequate to allow it to pay its debts as they come due. Additionally, one of LLC's customers, Peter, was badly injured when a chainsaw he rented from LLC malfunctioned. Peter sued LLC and obtained a judgment of \$500,000. LLC does not have liability insurance because Art forgot to sign the check when he sent the premium payment to the insurance company and, as a result, the company did not issue the policy. LLC cannot pay Peter's judgment from its current capital.

1. If Brett and Chad bring an action against Art to recover damages claiming that Art mismanaged LLC, should that action be direct or derivative and what corporate law requirements must they meet before bringing an action? Explain.
2. Did Art breach his fiduciary duty in managing LLC? Explain.
3. Can Peter recover the \$500,000 judgment against LLC from Art, Brett, and/or Chad personally? Explain.

July 2007
Analyses

CONTRACTS I.A., V.

ANALYSIS

- Legal Problems:
- (1)(a) Did Baker's letter of May 1 constitute an offer?
 - (1)(b) Did Café Owner's oral response on the morning of May 7 constitute a counteroffer?
 - (2) Did Café accept Baker's offer?
 - (3) Did the contract between Baker and Café satisfy the Statute of Frauds?

DISCUSSION

Summary

A valid contract requires an offer, an acceptance and, when as here, the contract cannot be performed within one year, a writing that satisfies the Statute of Frauds. Here, Baker made an offer to work for Café that was accepted when Café's Owner sent an acceptance by express mail to Baker. It is irrelevant that Baker did not read the acceptance. The fact that an earlier rejection was mailed is also irrelevant because a rejection, unlike an acceptance, is effective only upon receipt, and Baker did not receive the rejection before receiving the acceptance. When both a rejection and an acceptance are sent, whichever is received first is effective. Lastly, the writings, being signed, satisfy the requirements of the Statute of Frauds. Therefore, Café has an enforceable contract.

Point One(a): (20-30%)

Baker's signed letter of May 1 to Café agreeing to work as a pastry chef for Café is a valid offer.

A person makes an offer when the person communicates to another a statement of "willingness to enter into a bargain, so made as to justify" the other person who hears the statement "in understanding that his assent to that bargain is invited and will conclude it." RESTATEMENT (SECOND) OF CONTRACTS § 24 (1981). Here, Baker's letter of May 1 to Café was an offer because an objective recipient of the letter, such as Café, would reasonably conclude that assent would create a contract.

An offer cannot ripen into a contract by acceptance unless its terms are reasonably certain. *Id.* § 33(1). Here, the terms were clear and certain and identified the parties, the subject matter, and the price.

Point One(b): (20-30%)

Café Owner's phone call to Baker on the morning of May 7 asking if he would possibly work for less was not a counteroffer but merely a request for changed terms.

A counteroffer is a statement from the offeree to the offeror, relating to the same subject matter as the original offer but suggesting a substituted bargain from the original terms. *Id.* § 39(1). Generally, if an offeree makes a counteroffer, the offeree can no longer accept the original offer. *Id.* § 39(2). Here, Café's Owner said to Baker "The \$100,000 is pretty stiff. Could you possibly consider working for less?" This utterance is not a counteroffer because it did not offer substitute terms to Baker and did not indicate any unwillingness to conclude the bargain on Baker's terms if Baker would not accept an alternative salary. All Café's Owner did was ask Baker if he could possibly work for less. Café's Owner proposed no alternative salary. Because Café's Owner's call to Baker was not a counteroffer, but merely a request for unspecified changed terms, it did not preclude Café's later acceptance of Baker's offer.

Point Two: (25-35%)

Although Café's Owner initially rejected Baker's offer in writing, he later accepted the offer. Because Baker received the acceptance before he received the rejection, Baker's offer is deemed accepted.

A rejection is a manifestation of intent not to accept an offer. *Id.* § 38(2). A rejection terminates the offeree's power to accept an offer. *Id.* § 38(1). However, a rejection does not extinguish the offeree's right to accept an offer until the rejection is received by the offeror. *Id.* § 40. Here, Café's Owner's letter stating "I am no longer interested in hiring you" clearly manifests an intent not to go forward with the bargain and constitutes a rejection of Baker's offer.

However, Café's Owner's second letter, in which Café agreed to Baker's terms, was an acceptance because it was a manifestation of assent to the terms of an offer made in a manner invited by the offer. *Id.* § 50(1). The question then becomes which of the two letters sent by Café's Owner is effective, the rejection or the acceptance.

An acceptance is effective upon dispatch under the so-called "mailbox rule." *Id.* § 63. A rejection is effective only upon receipt. But when an acceptance is sent after a rejection (that is, both the acceptance and the rejection are sent), whichever gets to the recipient first is effective. *Id.* § 40. Here, Café's letter of acceptance was received by Baker first, while the letter containing the rejection was still on the way to Baker. *See id.* § 68 (a communication is received when it comes into the possession of the person to whom it is addressed). The fact that Baker did not read the letter does not alter this result. Because the acceptance was the first communication received, it is effective. Therefore, Café accepted Baker's offer to work for Café, and a contract was created.

Point Three: (25-35%)

If a contract cannot be performed within a year, it must meet the requirements of the Statute of Frauds. Here the contract satisfies that statute and, therefore, is enforceable.

A contract must satisfy the Statute of Frauds if it cannot be fully performed within one year. *Id.* § 130. Here, the two-year employment requirement cannot be completed in one year, and therefore the contract is within the purview of the Statute of Frauds and must satisfy the requirements of the Statute of Frauds to be enforceable.

A contract within the Statute of Frauds satisfies that statute and is enforceable if it is evidenced by a writing signed by “the party to be charged,” which (a) reasonably identifies the subject matter of the contract; (b) is sufficient to indicate that a contract has been made; and (c) “states with reasonable certainty the essential terms” of the contract. *Id.* § 131.

Here, each party signed a writing that is sufficient under these criteria as it identifies the position, person, term, and salary. Therefore, the Statute of Frauds is satisfied and the employment contract is enforceable. Because this is a personal services contract, if Baker refuses to work for Café, Café can sue Baker for damages, but cannot get specific performance.

FEDERAL CIVIL PROCEDURE I. A., B., E.; IV. C.; VI. E.

ANALYSIS

- Legal Problems:
- (1)(a) What are the requirements for an action to be removed from a state court to a federal court?
 - (1)(b) Are those requirements met in a suit against a decedent's estate executor who is a citizen of the same state as the plaintiff but the decedent was not?
 - (2)(a) Can the default judgment against Bert have preclusive effect in subsequent cases even though Bert never appeared to defend himself?
 - (2)(b) Is Bert's claim against Al so closely related to Al's original claim that Bert is barred from raising it in a subsequent action?

DISCUSSION

Summary

Bert's tort action against Al's estate raises a state law claim and may be removed to federal court only if the federal court would have had diversity jurisdiction over the action had it originally been filed in that court. Moreover, the case cannot be removed if any defendant is a citizen of the state in which the case is pending. In this case, removal was proper. The amount in controversy clearly exceeds the \$75,000 threshold. Although Executor is a citizen of State B and not diverse from Bert, she is a party to the action only in her capacity as a representative of Al's estate, and for diversity and removal purposes she is "deemed to be a citizen only of the same state as the decedent." Thus, Executor is treated as a State A citizen, the diversity requirements are met, and removal is appropriate.

Bert's action is barred by the default judgment in the prior suit between Bert and Al and should therefore be dismissed by the federal court. A default judgment is conclusive and binding on the parties if, as here, the rendering court had jurisdiction over the subject matter and the parties. Bert's claim against Al arose out of the same transaction or occurrence as Al's original claim, and the same evidence would have been relevant to the disposition of both claims. Under Federal Rule of Civil Procedure 13(a), Bert's claim was a compulsory counterclaim which Bert was required to raise in the initial action and, under standard rules of preclusion, Bert is barred from bringing a subsequent action asserting that claim.

Point One(a): (25-35%)

Removal of a case from a state court is appropriate if the federal court in that state would have original jurisdiction over the action and the defendant is not a citizen of that state.

An action filed in state court may be removed to the federal district court of the district where the state action is pending if the district court has “original jurisdiction” over the action. 28 U.S.C. § 1441(a). The federal court would have jurisdiction over Bert’s state law tort action against Al only if the requirements of diversity are met. The amount in controversy must exceed \$75,000 and the parties must be diverse (citizens of different states). 28 U.S.C. § 1332. In addition, removal by a defendant is prohibited if the defendant is a citizen of the state where the action is pending. 28 U.S.C. § 1441(b).

Point One(b): (25-35%)

Because Executor is “deemed to be a citizen only of the same state as the decedent,” the parties to the state court action were diverse and the case was properly removable to the federal court pursuant to the court’s diversity jurisdiction.

The requirements for removal are met here. Bert’s complaint seeks damages of \$3 million for personal injuries leading to permanent disability. This clearly exceeds the required amount in controversy, and there is nothing to suggest that the damage claim is not made in good faith. The parties are diverse because diversity depends on the citizenship of Bert and the decedent, Al, not the citizenship of Bert and Executor. Although Executor is the named defendant, for diversity purposes Executor is “deemed to be a citizen only of the same state as the decedent,” the person whose interest she represents. 28 U.S.C. § 1332(c)(2). The decedent, Al, was a citizen of State A and therefore was diverse from Bert, a State B citizen. The requirements of diversity jurisdiction were therefore satisfied and the case is removable.

Moreover, although the removal statute forbids a defendant from removing a case to federal court on the basis of diversity jurisdiction if the defendant is a citizen of the state where the action is pending, *see* 28 U.S.C. § 1441(b), the rule that an executor or administrator of an estate is deemed to be a citizen *only* of the state in which the decedent was a citizen is applicable here as well. 28 U.S.C. § 1332(c)(2). Because Executor is treated as a State A citizen, removal was appropriate.

Point Two(a): (15-25%)

A default judgment is entitled to preclusive effect, subject only to the requirements that the rendering court had subject matter jurisdiction and personal jurisdiction over the defendant and that the defendant had notice of the action and an opportunity to appear and defend himself. Those requirements are met here.

A default judgment rendered by a court is entitled to preclusive effect so long as the court had subject matter and personal jurisdiction over the action and the parties. *See Sewell v. Merrill Lynch*, 94 F.3d 1514 (11th Cir. 1996); *Orca Yachts LLC v. Mollicam Inc.*, 287 F.3d 316, 318 (4th Cir. 2002). Although Bert did not appear and defend himself in the original action, the federal

court clearly had jurisdiction over the action and over Bert. The parties were diverse (Bert was from State B and Al from State A) and the amount in controversy (the value of Al's automobile) exceeded \$75,000. Moreover, as Bert was a citizen of the state in which the action was pending, and was domiciled in the state at the time, the court had personal jurisdiction over him. The facts also state that Bert was properly served and had notice of the action.

Point Two(b): (25-35%)

The judgment in the prior suit between Al and Bert precludes Bert from asserting his personal injury claim because that claim was a compulsory counterclaim that should have been raised in the original action.

Because the judgment in Al's suit against Bert was rendered by a federal court sitting in diversity, its judgment will be given the same preclusive effect as would be given under State B law to a State B state court judgment (because State B is the state in which the judgment-rendering court was located). *See Semtek Int'l Inc. v. Lockheed Martin Corp.*, 531 U.S. 497 (2001). The precise preclusive effect that should be given to a default judgment is subject to some variance among the states, *see, e.g.*, RESTATEMENT (SECOND) OF JUDGMENTS § 22 and comments (1982), but on this issue there is substantial uniformity. It is widely accepted that a default judgment bars the losing party from asserting defenses that could have been raised in the action or claims that were subject to a compulsory counterclaim statute or rule in the original action. *See generally* 3 MOORE'S FEDERAL PRACTICE § 13.14 (3d ed.).

The federal compulsory counterclaim rule, Federal Rule of Civil Procedure 13(a), would have required Bert to bring his claim against Al in the first action, had Bert actually defended that action. Rule 13(a) requires a defendant to "state as a counterclaim any claim" that he or she has against the plaintiff if the claim "arises out of the transaction or occurrence that is the subject matter" of the plaintiff's claim. Here, Bert's claim against Al for damages arises out of the same occurrence (the traffic accident) as Al's previous claim against Bert. Moreover, key issues of law and fact raised by both claims would be the same as both claims involve the basic question of who was at fault in the accident. Much of the evidence that would support or refute Al's claim against Bert is likely to be relevant to Bert's claim against Al. In short, the two claims are logically, factually, and transactionally related. These are precisely the circumstances under which the federal rules require Bert to assert his claim as a counterclaim. *See generally Tank Insulation Int'l, Inc. v. Insultherm, Inc.*, 104 F.3d 83, 85-86 (5th Cir. 1997). Because Bert's claim for damages was a compulsory counterclaim that should have been raised in the original action, the judgment in that original action bars the claim. It does not matter that Bert did not actually litigate in the prior case but merely allowed a default judgment to be entered against him.

[NOTE: Because the question of the preclusive effect of this judgment involves the effect of the federal counterclaim rule, some applicants might argue that the preclusion issue is governed by federal law and not by state preclusion rules. *Cf. Semtek*, 531 U.S. 497, 508 (state law governs the preclusive effect of a diversity judgment *absent substantial federal concern*). But it does not really matter whether an applicant concludes that state or federal preclusion rules apply. The basic rule—that a default judgment bars the defendant from raising in future litigation a claim

that was subject to a compulsory counterclaim statute or rule in the original litigation—is well established in state and federal practice.]

ANALYSIS

- Legal Problems:
- (1)(a) Does Husband's conduct provide a basis for setting aside the divorce settlement agreement?
 - (1)(b) Does Mediator's conduct provide a basis for setting aside the divorce settlement agreement?
 - (2) Is Wife entitled to spousal maintenance?

DISCUSSION

Summary

A spouse's fraud, duress, or coercive behavior provides a basis for setting aside a settlement agreement that is unfair. In this case, there is evidence to support findings of unfairness and impermissible misconduct by Husband. Additionally, a mediator's substantial misconduct is a basis for setting aside a settlement agreement. Such substantial misconduct is clearly evident in this case. Wife has a strong spousal maintenance claim given her disproportionate contributions to the marriage and to Husband's education, the substantial disparity in Husband's and Wife's economic circumstances, and the duration of the marriage.

Point One(a): (15-25%)

A divorce settlement agreement may be set aside when a spouse's fraud, duress, or coercive behavior results in an unfair agreement. Husband's collusion with Mediator, his implicit threats against Wife, and his failure to disclose his relationship with Mediator provide a basis for setting aside the settlement agreement.

When a divorce settlement agreement is attacked before a final judgment of divorce is entered, the court generally "has great freedom . . . to reject the agreement, to accept it, or to accept it with modifications." HOMER H. CLARK, *THE LAW OF DOMESTIC RELATIONS IN THE UNITED STATES* 760 (2d ed. 1988). Although the case law is far from uniform and often relies heavily on the facts of the case at hand, courts in most states have held that an agreement may be set aside based on fraud, duress, or coercive behavior that results in an agreement substantively unfair to one of the parties. *See id.* at 761; UNIF. MARRIAGE AND DIVORCE ACT (UMDA) § 306(b) (1982) (written separation agreement is binding on the court unless unconscionable).

Courts have been particularly solicitous of divorce litigants who are unrepresented by legal counsel. Even when there is no general duty of disclosure, a number of courts have held that

when negotiating a separation agreement, a represented spouse has a fiduciary obligation toward an unrepresented spouse. *See, e.g., Terwilliger v. Terwilliger*, 64 S.W.3d 816 (Ky. 2002).

Although lack of independent legal counsel will not by itself invalidate an agreement, courts will generally examine the circumstances that led to the waiver of counsel. Moreover, an attorney may not ethically represent both spouses in drafting an agreement.

Here, Wife had no attorney before the mediation session, while Husband met with Mediator, an attorney who had represented his family for many years. Husband also failed to tell Wife about that meeting and his family's relationship with Mediator. Taken together, these facts may establish that the agreement was procured through fraud. Husband's collusion with Mediator to pressure Wife into signing an agreement favoring his interests also appears to be coercive; so does Husband's fist-clenching and "menacing" look.

Husband's behavior thus offered the trial court a basis for invalidating the settlement agreement if that agreement was substantively unfair to Wife. Because, in most states, there are strong arguments in favor of a spousal maintenance award to Wife (*see* Point 2), the trial court would be justified in finding that the agreement was substantively unfair.

[NOTE: Cases refusing to invalidate fraudulently obtained settlement agreements that already have been incorporated into a divorce judgment are inapplicable to this fact pattern. *See, e.g., Daffin v. Daffin*, 567 S.W.2d 672 (Mo. Ct. App. 1978); *Hewett v. Zegarzewski*, 368 S.E.2d 877 (N.C. Ct. App. 1988).]

Point One(b): (15-25%)

A divorce settlement agreement may be set aside based on serious mediator misconduct. Because Mediator was guilty of such misconduct, the trial court would not err in setting the agreement aside.

Substantial mediator misconduct is a basis for setting aside a divorce settlement agreement. *See Vitakis-Valchine v. Valchine*, 793 So. 2d 1094 (Fl. Ct. App. 2001). In this case, Mediator was guilty of serious misconduct. First, a mediator must be impartial and disclose potential conflicts of interest. *See ABA Model Standards of Practice for Family and Divorce Mediation*, Standard IV, 35 FAM. L.Q. 27 (2001) (mediator must "conduct the mediation process in an impartial manner" and "disclose all actual and potential grounds of bias and conflicts of interest reasonably known to the mediator . . ."). In this case, a number of facts suggest bias: Mediator was the attorney for Husband's family and met with Husband prior to the mediation session; Mediator failed to reveal these sources of bias and showed partiality toward Husband by requesting only his proposal. Second, a mediator is required to explain the mediation process and make sure that the parties have enough information to ensure informed decision making. *See id.* at Standard III ("mediator shall facilitate the participants' understanding of what mediation is"). In this case, Mediator did not explain the mediation process, the law, or the parties' entitlement to independent counsel. Third, a mediator should recognize and control a situation, such as domestic violence, that would result in unfairness or prejudice to one of the parties. *See id.* at Standard X ("mediator shall recognize a family situation involving domestic abuse and take

appropriate steps to shape the mediation process accordingly”). Here, Mediator did not screen for domestic violence and did nothing to adjust the power imbalance between Husband and Wife. Fourth, a mediator may not coerce or improperly influence any party to make a decision. *See id.* at Standard I (“mediator shall recognize that mediation is based on the principle of self-determination by the participants”); *Vitakis-Valchine*, 793 So. 2d at 1099. Here, Mediator characterized Husband’s proposal as “fair” and failed to ask Wife what she would propose as a settlement.

Mediator’s misconduct offered the trial court another, independent basis for setting aside the settlement agreement.

Point Two: (40-50%)

Wife has a strong claim to spousal maintenance given her disproportionate contributions to the marriage and to Husband’s education, the substantial disparity in Husband’s and Wife’s economic circumstances, and the duration of the marriage.

Rules governing the award of spousal maintenance vary from one state to the next, but they almost invariably require the trial court to consider the parties’ financial resources and needs, the marital contributions, and the marital duration. Some state statutes require consideration of spousal misconduct. Some require the court to consider one spouse’s support for the other’s education or training or mandate reimbursement for such contributions. *See* Robert Kirkman Collins, *The Theory of Marital Residuals: Applying an Income Adjustment Calculus to the Enigma of Alimony*, 24 HARV. WOMEN’S L.J. 23 (2001) (describing and categorizing factors in determination of spousal maintenance). Spousal maintenance statutes also accord substantial discretion to the trial court.

In this case, Husband’s salary will soon be five times that of Wife’s, and his economic prospects are extremely good. Wife is minimally educated and relatively unskilled; her economic prospects are extremely poor. The marriage lasted eleven years. During that time, Wife made greatly disproportionate economic and non-economic contributions to the marriage, Wife greatly facilitated Husband’s medical training, and Husband was consistently abusive to Wife.

In the vast majority of states, this combination of facts would amply support a spousal maintenance award to Wife during the three-year period needed to complete her college education. Given Husband’s anticipated \$150,000 annual salary, Wife’s earning capacity (apparently no greater than \$30,000 per year), and her likely inability to work full time while attending college, a \$25,000 spousal maintenance award also seems to be fully justified.

In some states, however, a spouse must establish that she lacks the capacity for self-support as a precondition to obtaining a spousal maintenance award. *See, e.g.,* UMDA § 308(a) (court may not award spousal maintenance unless spouse (1) “lacks sufficient property to provide for his reasonable needs; and (2) is unable to support himself through appropriate employment . . .”). Wife has no property, but she is capable of self-support. Under a standard like that of the UMDA, she would be ineligible for spousal maintenance unless her employment was not

“appropriate.” Some courts have thus refused to award spousal maintenance to a wife capable of self-support even when she supported her husband’s professional education. *See, e.g.,*

McDermott v. McDermott, 628 P.2d 959 (Ariz. Ct. App. 1981) (schoolteacher wife who supported husband through graduate school not eligible for spousal maintenance because she could support herself); *Morgan v. Morgan*, 383 N.Y.S.2d 343 (App. Div. 1976) (overturning spousal maintenance award to wife who had supported husband’s legal education and planned to finish college and go to medical school because she was capable of self-support).

Decisions denying spousal maintenance on facts like those in the problem are typically quite old, however. Today, courts and commentators tend to view spousal maintenance as compensation for loss rather than relief of need. *See Principles of the Law of Family Dissolution: Analysis and Recommendations* § 5.04 *et seq.*, A.L.I. (2002) (treating spousal maintenance as a remedy for unfair loss allocation”). Some jurisdictions also employ a quasi-contract or unjust enrichment approach. The problem contains facts that would support this type of argument given that Husband and Wife both expected to benefit from Husband’s enhanced earning capacity.

Even in a jurisdiction with case law strongly emphasizing self-support, Wife could rely on the fact that she and Husband had an understanding that she would return to school after his education was completed. *See Morgan*, 383 N.Y.S.2d at 344 (basing denial of spousal maintenance in part on fact that wife’s current educational plan was “never in the contemplation of the parties during marriage”). That agreement would also provide Wife with an argument that her current employment is inappropriate.

[NOTE: The applicant’s conclusion should be given less weight than his or her command of the relevant legal principles and use of the facts.]

AGENCY & PARTNERSHIP V. A.; VI.; VII. B.

ANALYSIS

- Legal Problems:
- (1) What is the legal relationship of Talker, Fixer, and Manager?
 - (2)(a) Did Fixer have actual authority to hire Crafty on behalf of TFM?
 - (2)(b) Did Fixer have apparent authority to hire Crafty on behalf of TFM?
 - (3) Can Crafty hold Talker personally liable for unpaid wages?

DISCUSSION

Summary

Talker, Fixer, and Manager are doing business as a general partnership. As partners in a general partnership, they must ordinarily act by majority rule; thus Fixer had no actual authority to hire Crafty. However, Fixer had apparent authority to hire Crafty on behalf of the partnership. Therefore, TFM is liable for Crafty's unpaid wages. As a general partner, Talker is personally liable for the partnership's debts. However, Crafty can collect those wages from Talker only if Crafty obtains a judgment against Talker and first exhausts the partnership's assets.

Point One: (20-30%)

Talker, Fixer, and Manager are general partners in TFM.

A partnership is the association of two or more persons to carry on as co-owners a business for profit whether or not the persons intend to form a partnership. *See* UNIF. PARTNERSHIP ACT (UPA) §§ 101(6) & 202(a) (1997); *cf. also* UPA § 6(1) (1914) (defining partnership in same manner as UPA (1997)). "A business is a series of acts directed toward an end." UPA § 202 cmt. 1 (1997). As co-owners of a business, each partner "has the power of ultimate control." *Id.*

In order to create a partnership, the parties must intend to take actions that create a partnership, but it is not necessary that they realize they are forming a partnership or describe their business as a partnership. "[W]here intent cannot be directly ascertained, it must be established from all of the facts, circumstances, actions, and conduct of the parties." *MacArthur Co. v. Stein*, 934 P.2d 214, 217-18 (Mont. 1997). A written agreement is generally not required.

A person who receives a share of the profits of the business is presumed to be a partner in the business. UPA § 202(c)(3) (1997); *cf.* UPA § 7(4) (1914) (receipt of a share of profits of a business is prima facie evidence that one is a partner in the business). The presumption does not

apply in specified situations, such as where the profits are received in payment of a debt, as interest on a loan, as wages, as rent, or for the sale of the goodwill of a business. *See* UPA § 202(c)(3)(i)-(vi) (1997); *cf.* UPA § 7(4)(a)-(e) (1914) (providing similar exceptions).

Here, there is a for-profit business and the three friends share equally in the profits of the business. There are no facts suggesting that the profits are received in payment of a debt, as interest on a loan, as wages, as rent, or for the sale of the goodwill of a business. Furthermore, the conduct of Talker, Fixer, and Manager supports the partnership presumption: each of them participates in the business on a regular basis; they meet regularly to discuss the business; and the name of the business includes initials from each of their names.

In sum, although there is no written partnership agreement, the conduct of Talker, Fixer, and Manager establishes that they have associated as co-owners of a business for profit. This association constitutes a partnership relationship. Because they have no agreement to the contrary, they have created a general partnership.

Point Two(a): (5-15%)

Fixer had no actual authority to bind the partnership to a contract of employment with Crafty.

Absent an agreement to the contrary, “[a] difference arising as to a matter in the ordinary course of business of a partnership may be decided by a majority of the partners.” UPA § 401(a)(j) (1997); *see also* UPA § 18(h) (1914) (providing same rule as UPA (1997)). An act outside of the ordinary course of business requires the consent of all partners. UPA § 401(a)(j) (1997).

Hiring an employee to perform services in the partnership business is clearly a matter within the ordinary course of the business of the TFM partnership. No major change in or deviation from the cabinet restoration business is involved. Fixer was merely hiring additional help to deal with an overflow of business. *See State Comp. Ins. Fund v. Indus. Acc. Comm’n*, 82 P.2d 732, 734 (Cal. Ct. App. 1938) (general rule is that each partner has authority to bind the firm by employment of persons whose services are reasonably necessary for carrying on business); *Felice v. Felice*, 112 A.2d 581, 583 (N.J. Super. A.D. 1955) (partner can bind firm by engaging employees in ordinary course of business).

The facts of this problem make clear that a majority of the partners (two of the three) opposed the hiring of Crafty. Consequently, Fixer did not have actual authority to hire Crafty.

Point Two(b): (20-30%)

Fixer had apparent authority as a partner to bind the partnership when he hired Crafty.

Each partner has authority to bind the partnership by any act “for apparently carrying on in the ordinary course the partnership business or business of the kind carried on by the partnership . . . unless the partner had no authority to act for the partnership in the particular matter and the person with whom the partner was dealing knew or had received a notification that the partner lacked authority.” UPA § 301(1) (1997); *see also* UPA § 9(1) (1914) (very similar to UPA

1997)). The effect of UPA § 301(1) (1997) is to “characterize a partner as a general managerial agent having both actual and apparent authority co-extensive with the firm’s ordinary business, at least in the absence of a contrary partnership agreement.” UPA § 301 cmt. 2 (1997).

Under UPA (1997), a two-part analysis is required. First, it must be determined whether the particular act was “for apparently carrying on in the ordinary course the partnership business or business of the kind carried on by the partnership.” *Id.* If it was, then the partnership is liable unless it is proven that the person dealing with the partner had actual knowledge or notification of the partner’s lack of authority. *See RNR Inv. Ltd. P’ship v. Peoples First Cmty. Bank*, 812 So. 2d 561, 565-66 (Fla. Ct. App. 2002).

Here, hiring Crafty to help in cabinet restoration was in the ordinary course of a cabinet restoration business. *See* Point Two(a).

Therefore, the partnership will be bound unless it is proved that Crafty had known that Fixer lacked authority to hire Crafty, in which case Crafty would have no claim. The facts of the problem do not suggest that Crafty had knowledge of Fixer’s lack of authority; therefore, Fixer had apparent authority as a partner to bind the partnership by hiring Crafty because the act appeared to be in the ordinary course of the partnership business.

[NOTE: The result under the 1914 version of UPA would be the same. *See* UPA § 9(1) (1914).]

Point Three: (15-25%)

Talker is personally liable for Crafty’s unpaid wages. However, to collect against Talker, Crafty must first obtain judgments against Talker and the partnership and exhaust the assets of the partnership.

A partner is jointly and severally liable for all obligations of the partnership. *See* UPA § 306(a) (1997). As discussed above, Fixer had apparent authority as a partner to bind the partnership to an employment contract with Crafty. Therefore, the unpaid wages are a partnership obligation for which Talker is jointly and severally liable.

However, to collect from Talker personally, Crafty must first obtain a judgment against Talker and against the partnership and levy execution against the partnership’s assets. Ordinarily, a claimant may not take action against a partner’s personal assets unless the partnership assets fail to satisfy the claimant’s judgment. *See* UPA § 307(d) (1997). Moreover, under the UPA (1997), a judgment against a partnership is not, by itself, a judgment against a partner. Consequently, a judgment against a partnership may not be satisfied out of the partner’s separate assets unless there is also a separate judgment against the partner. *See id.* § 307(c). However, a judgment against a partner personally may be sought in the same action as a judgment against the partnership.

In sum, the unpaid wages are a partnership obligation. Therefore, Crafty can execute against the separate assets of Talker to satisfy the claim for unpaid wages only if Crafty obtains a judgment against Talker as well as obtaining a judgment against the partnership and exhausting its assets.

[NOTE: Under the UPA (1914), a partner is jointly, as opposed to jointly and severally, liable for obligations of the partnership. *See* UPA § 15(b) (1914). Consequently, all partners must be joined as defendants in an action based upon a partnership contract unless a statute permits otherwise. *See generally* WILLIAM GREGORY, THE LAW OF AGENCY AND PARTNERSHIP § 207(A)-(C) (West 3d ed. 2001). Moreover, a partnership is not a legal entity under the UPA (1914). Therefore, a third party cannot sue the partnership and is required to sue all the individual partners unless a statute permits a suit against the partnership as an entity. *See id.* While the UPA (1914) does not require exhaustion of partnership assets prior to execution upon the separate assets of a partner, case law in a number of UPA jurisdictions imposes such a requirement. *See id.* § 207(E).]

CRIMINAL LAW I. B.1. & 2.; IV. B.1., D.

ANALYSIS

- Legal Problems:
- (1) Did Defendant act with the *mens rea* sufficient to be found guilty of second-degree murder?
 - (2) Was Defendant's accidental shooting of Friend the legal cause of Friend's death?

DISCUSSION

Summary

Defendant need not have acted with deliberation or premeditation to be guilty of second-degree murder. However, Defendant must have acted with the *mens rea*, or mental state, of "malice aforethought." Malice aforethought is present where a defendant acts with "depraved indifference to the value of human life." On these facts, a jury could conclude that Defendant's act of shooting at a lamp to "scare Friend" evidenced a disregard of the risks to Friend and of the value of Friend's life sufficient to amount to depraved indifference.

Defendant's act of shooting Friend was the legal cause of Friend's death. First, it was the "but for" cause of Friend's death. Had Friend not been shot, Defendant would not have been driving him to the hospital, there would have been no accident, and Friend would not have bled to death. The fact that the accident contributed to Friend's death does not relieve Defendant of liability. The accident occurred as a result of Defendant's response to the shooting and would not be held to break the chain of causation. Thus, if Defendant were found to have acted with the requisite *mens rea*, Defendant would be responsible for Friend's death and guilty of second-degree murder.

Point One: (45-55%)

A jury could find that Defendant's act of shooting at a lamp to scare Friend evidenced an extreme indifference to the value of human life and thus conclude that Friend acted with "malice aforethought."

To be guilty of second-degree murder, Defendant must have acted with the requisite *mens rea*, or mental state, of malice aforethought. Malice aforethought is a term of art, and it encompasses several different mental states. In most jurisdictions, the malice aforethought requirement is satisfied if Defendant acted with intent to kill, with knowledge that his acts would kill, with intent to inflict great bodily harm, or with reckless disregard of an extreme risk to human life (a depraved heart). J. DRESSLER, UNDERSTANDING CRIMINAL LAW 512-13 (2001); *see* MODEL PENAL CODE § 210.2(1)(b).

In this case, the evidence does not suggest that Defendant acted with intent or knowledge that Friend would be harmed. However, the evidence probably does support a conclusion that Defendant acted with “a depraved heart” and therefore with the malice aforethought necessary for Defendant to be guilty of murder.

Although the precise terminology used to describe “depraved-heart” murder differs from jurisdiction to jurisdiction, most states require (i) that the defendant act “recklessly” (i.e., with an awareness of the risk that his acts could cause death) and (ii) that the defendant’s conduct show a high degree of indifference to the value of human life. Thus, convictions for depraved-heart murder have been upheld when a defendant intentionally shot a gun into a crowded room, *People v. Jernatowski*, 144 N.E. 497 (N.Y. 1924), or played Russian roulette with a partially loaded revolver, *Commonwealth v. Malone*, 47 A.2d 445 (Pa. 1946).

Here, Defendant probably acted recklessly. Defendant shot a gun in the general direction of Friend, while aiming at a lamp that was behind Friend. This behavior carries an obvious risk to Friend: if Defendant’s aim was slightly off or if Friend moved (as happened here), Friend could be shot and fatally injured. From the facts of Defendant’s behavior, and the obvious risks attending that behavior, a jury could infer that Defendant must have been aware of those risks and thus acted recklessly.

Did Defendant’s recklessness evidence an “extreme indifference to the value of human life?” Courts have held that behavior that carries a substantial risk of causing death, when it has no legitimate purpose and is done solely for the amusement of a defendant, is a sufficient predicate for a conclusion that the defendant acted with the necessary indifference to human life to be liable for depraved-heart murder. *See Malone*, 47 A.2d 445. Here Defendant ran a high risk of causing serious harm to Friend for no purpose other than to amuse himself by scaring Friend. This is the kind of behavior that provides a sufficient predicate for a jury to find “extreme indifference to the value of human life” and to convict Defendant of second-degree murder.

Point Two: (45-55%)

Defendant’s act of shooting Friend was the legal cause of death because Friend would not have died “but for” having been shot by Defendant, and the injuries suffered by Friend in the car accident do not break the chain of proximate causation.

Defendant is criminally liable for Friend’s death only if Defendant’s acts were both the actual and proximate cause of Friend’s death. *See generally* WAYNE R. LAFAVE, CRIMINAL LAW 331-358 (4th ed. 2003).

Defendant’s act of shooting Friend was the actual cause of Friend’s death. First, Defendant’s act was the “but for” cause of Friend’s death. Had Defendant not shot Friend, they would not have been driving to the hospital, the accident would not have occurred, and Friend would not have bled to death. Quite apart from that, however, it is well established that where a defendant’s wrongful act (the gunshot wound) works in combination with some other cause (the injuries in the accident) to cause a victim’s death, the defendant’s act is an actual cause of the death because it “accelerated the death process.” DRESSLER, *supra*, at 185; *see also Oxendine v. State*, 528 A.2d

870 (Del. 1987) (defendant who inflicts a second non-mortal wound can be considered the cause of child's death only if his actions caused child to die sooner than he otherwise would). Here, the facts state that Friend's death was the result of loss of blood caused by *both* the gunshot wound and the automobile accident. In that case, the gunshot wound is an actual cause of death.

Defendant's acts were also the proximate cause of Friend's death. The accident was a "dependent intervening cause"—a consequence of Defendant's prior wrongful conduct. It is widely held that such an intervening cause breaks the chain of causation from the original act to the death only if the intervening force was "so out-of-the-ordinary that it is no longer fair to hold [the defendant] criminally responsible for the outcome." DRESSLER, *supra*, at 190. Courts routinely say that the intervening event must have been "abnormal or bizarre" to prevent a defendant's original action from being regarded as the proximate cause of death. *See Kibbe v. Henderson*, 534 F.2d 493, 498-99, n.6 (2d Cir. 1976), *rev'd on other grounds*, *Henderson v. Kibbe*, 431 U.S. 145 (1977). Here, there is nothing abnormal about Defendant's response to his wrongful act (he tried to rush Friend to the hospital). Nor is there anything abnormal or bizarre about the fact that Defendant was involved in an accident while rushing to the hospital with a wounded friend. Even if Defendant was not at fault in causing the accident, the fact that it occurred is not sufficiently "out-of-the-ordinary" to warrant breaking the chain of causation from the shooting to the death. Therefore, Defendant's act of shooting Friend was the legal cause of Friend's death, and Defendant is guilty of second-degree murder if that act was committed with malice aforethought (*see* Point One).

REAL PROPERTY V. A., B.2., D.1.d.

ANALYSIS

- Legal Problems:
- (1) Did Owen convey a fee simple absolute to Abe by the Owen-to-Abe deed?
 - (2) Did Abe acquire title to Whiteacre by adverse possession?
 - (3) Did Buyer acquire title from Doris that was superior to Abe's title?

DISCUSSION

Summary

A valid deed requires that the grantee be named with specificity. Because the Owen-to-Abe deed did not name a grantee, it was ineffective to convey the land to Abe. Although Abe did not acquire title to Whiteacre by deed from Owen, he may have acquired title by adverse possession. This would depend on whether the court finds that Abe's acts were sufficiently open, notorious, exclusive, continuous, and under claim of right to warrant the conclusion that he had acquired title by adverse possession. If Abe acquired title to Whiteacre by adverse possession, his claim to possession is good against a subsequent purchaser for value like Buyer. If Abe did not acquire title by adverse possession either because an applicant wrongfully believes the Owen-to-Abe deed was valid or because Abe's acts are construed as insufficient to acquire a title by adverse possession, then Buyer's deed is controlling because he is a bona fide purchaser for value and had neither constructive nor inquiry notice of Abe's interest in Whiteacre.

Point One: (25-35%)

Abe did not acquire title to Whiteacre by deed from Owen because that deed failed to specify the name of the grantee.

To be valid, a deed must identify the buyer and the seller, describe the land subject to the conveyance, contain words denoting a present intent to convey, and be signed by the grantor. *See generally* STOEBUCK & WHITMAN, THE LAW OF PROPERTY 810 (3d ed. 2000). Here, the deed from Owen to Abe read in its entirety: "Owen hereby conveys to the grantee by a general warranty deed that parcel of vacant land in State B known as Whiteacre. [Signature of Owen]." The Owen-to-Abe deed names the seller, describes the land, sets forth a present intent to convey to a grantee, and contains the grantor's signature, but it does not contain the name of the grantee. Therefore Owen did not effectively convey the land to Abe. Although some courts have upheld deeds when the grantee's name is missing, these cases involve deeds containing language providing a method for ascertaining the grantee's identity, such as "to the grantor's son" or to the "trustee of a trust." No such language appears here.

[NOTE: If an applicant does not know the rule that a deed must name the grantee, the applicant should conclude the Owen-to-Abe deed is valid. If the applicant wrongly concludes that deed is valid, then the applicant might either completely skip Point Two, or, in discussing Point Two, conclude that Abe did not acquire a title by adverse possession because Abe's possession was not hostile.]

Point Two: (35-45%)

Abe may succeed in establishing that he acquired title to Whiteacre by adverse possession.

An individual may acquire title to land by adverse possession. To do so, the claimant must show that he entered the land and remained in actual possession that was open, continuous, exclusive, and under claim of right during the entire period in which the record owner (here, Owen) had a cause of action for possession. In State B, a cause of action for possession is available for ten years after a possessor's entry.

Whether the possessor has acquired title by adverse possession can only be conclusively determined by a judicial proceeding, and the sufficiency of particular acts of possession is not always clear. In most states, it is not necessary that the possessor have paid taxes. *See* STOEBUCK & WHITMAN, *supra*, at 854. (In a few states, a possessor cannot claim title by adverse possession without paying taxes. *Id.* at n.7.) The possessor need not possess the land to its highest and best use; the possession must be consistent with how a true owner would have possessed the land. *See Jarvis v. Gillespie*, 587 A.2d 981, 985 (Vt. 1991).

Abe has a strong case for adverse possession. His acts of possession were open in the sense that they were observable by anyone who looked. They continued for eleven years. His grants to others of permission to use the land suggest exclusivity. He paid taxes, although in most states this is not essential to establish a title by adverse possession. Lastly, his claim of right or hostility is evidenced by his entry under an invalid deed. It is irrelevant that he thought he was there rightfully under a valid deed because, in fact, the deed was invalid, and Owen could have ejected him at any time during the 10-year statutory period. Abe's acts of possession endured for eleven years, one year more than required to acquire a title by adverse possession in State B. His possession was also more active than Owen's, supporting the claim that it was consistent with how a true owner would have possessed the land. The fact that Abe did not build structures on the land, fence it, or post no-trespassing signs should not adversely affect his claim given that Owen, the previous owner, appears to have acted in the same way.

[NOTE: An applicant's conclusion is less important than his or her demonstrated mastery of the relevant legal principles and ability to utilize the facts.]

Point Three: (30-40%)

If Abe acquired title to Whiteacre by adverse possession, his claim to possession is good against a subsequent purchaser for value like Buyer despite his failure to record his interest. If Abe did not acquire title by adverse possession, Buyer's deed is controlling because Buyer had neither actual nor constructive notice of Abe's interest in Whiteacre when he purchased the property.

If Abe acquired title by adverse possession, that title is as good as a title traceable to a prior record owner; it is not lost because he allowed the property to go unoccupied. Thus if Abe acquired title by adverse possession (*see* Point Two), he is entitled to recover possession from Buyer.

The State B recording statute does not alter this result. Under the statute, a subsequent bona fide purchaser prevails against a prior donee or purchaser if the purchaser acquired the property without knowledge of the interest of the prior donee or purchaser. Statutes like this aim to protect subsequent purchasers against interest holders who could—but have failed to—record the documents describing their interests in the local land records office. In such a case, equity clearly favors the subsequent purchaser who took without notice of the prior interest. However, in the case of title acquired by adverse possession, there is no document that the interest holder could record. Courts have thus held that title acquired by adverse possession cannot be defeated by a later conveyance from the prior record title owner even if the land is vacant at the time the buyer purchases the land. *See, e.g., Mugaas v. Smith*, 206 P.2d 332 (Wash. 1949).

If Abe did not acquire title by adverse possession, then Buyer acquired title to the property from Doris, Owen's successor-in-interest. In that case, Buyer is entitled to possession because, given Abe's absence at the time Buyer purchased the property, Buyer had no actual or constructive notice of Abe's interest in the land.

NEGOTIABLE INSTRUMENTS IV. A., B., D.; V. B.

ANALYSIS

- Legal Problems:
- (1) Under what circumstances would Lender take the check free from Corporation's claim of ownership?
 - (2) Was Sam's fraudulent indorsement effective to negotiate the check to Lender and make Lender a holder?
 - (3) Did Lender give value for the check merely by reducing Sam's loan balance?
 - (4) Did Lender have notice of Corporation's claim to the check when it took the check in payment of a personal debt owed by Sam?

DISCUSSION

Summary

Lender will not be subject to Corporation's claim to the check because Lender is a holder in due course. Sam's forged indorsement of the check is treated as valid (as against Corporation) because Corporation gave Sam responsibility for handling its checks. Lender took the indorsed check in good faith. It also gave "value" for the check because it took it in payment for an antecedent debt. Finally, Lender had no notice of Corporation's claim to the check or of any other claim or defense that might be raised. Lender is therefore not obligated to return the check to Corporation.

[NOTE: The Uniform Commercial Code (UCC) governs this problem. The American Law Institute and National Conference of Commissioners on Uniform State Laws approved a revision of UCC Article 1 in 2001 and approved amendments to UCC Article 3 in 2002 and 2003. This discussion cites the current revised and amended versions of these articles, but the problem has been designed so that the amendments do not affect the analysis.]

Point One: (20-30%)

Lender will be free of Corporation's claim if Lender took the check under circumstances that satisfy the requirements for being a holder in due course.

A check is a negotiable instrument, UCC § 3-104(f), and a "person taking an instrument . . . is subject to a claim of a property or possessory right in the instrument . . ." UCC § 3-306 (2003). In this case, Corporation was the original payee of the check, the check belonged to Corporation, and Corporation therefore has both a property and possessory right in the check. In most cases,

Corporation would be able to assert this right and recover the check from a thief (e.g., Sam) or from a person who took the instrument from a thief (e.g., Lender).

However, a “claim of a property or possessory right in the instrument” may not be successfully asserted against a “person having rights of a holder in due course.” *Id.* Therefore, if Lender is a holder in due course of the check, Lender will not be subject to Corporation’s claim to the check. *See American Parkinson Disease Ass’n, Inc. v. First Nat. Bank of Northfield*, 584 N.W.2d 437, 441 (Minn. 1998) (holder in due course not subject to the claim of an organization from which the check was embezzled).

A “holder in due course” is a holder of a negotiable instrument who took the instrument in good faith, for value, and without notice of certain problems with respect to the instrument, including a claim to the instrument. UCC § 3-302(a)(2). The question stipulates that Lender took the check in good faith. Accordingly, whether Lender is a holder in due course depends on whether Lender is a holder of the check, whether Lender took the check for value, and whether Lender had notice of Corporation’s claim to the check. The following points address these issues, ultimately concluding that Lender is a holder in due course.

Point Two: (30-40%)

Lender is a holder of the check because a fraudulent indorsement of a check by an employee entrusted with responsibility with respect to the check is effective to negotiate the check.

Lender must be a “holder” of the check in order to be a holder in due course. A person can become a holder of a negotiable instrument by taking the instrument through the process of negotiation. *See* UCC § 1-201(b)(21)(A) (defining holder), § 3-201(a) (defining negotiation). Negotiation of an instrument payable to an identified person requires a transfer of possession of the instrument and the indorsement of the person to whom the instrument is payable. UCC § 3-201(b). In this case, the check was payable to Corporation, and possession was transferred to Lender. Therefore, if the check was indorsed by Corporation, Lender took the instrument through a negotiation and became a holder of the instrument.

Sam made an unauthorized indorsement of the check in the name of Corporation. Ordinarily, an unauthorized signature would not suffice to negotiate a check. UCC § 3-403(a). But an exception exists for unauthorized signatures made by an employee entrusted with responsibility for handling checks. The exception says: “if an employer entrusted an employee with responsibility with respect to the instrument and the employee . . . makes a fraudulent indorsement of the instrument, the indorsement is effective as the indorsement of the person to whom the instrument is payable if it is made in the name of that person.” UCC § 3-405(b). An employer may entrust an employee with responsibility with respect to a check in several ways, including giving the employee authority to handle the check “for deposit to an account.” UCC § 3-405(a)(3)(ii); *see Cable Cast Magazine v. Premier Bank, Nat’l Ass’n*, 729 So. 2d 1165, 1167 (La. Ct. App. 1999) (holding that a fraudulent indorsement by an employee who had authority to deposit checks was effective as the indorsement of the employer).

In this case, Corporation entrusted Sam with responsibility for the check because it authorized

him to deposit it. Sam made a fraudulent indorsement of the check in the name of Corporation. This fraudulent indorsement therefore was effective as the indorsement of Corporation. Accordingly, the check was negotiated to Lender, and Lender became a holder of the check. The underlying policy is that the risk of unauthorized indorsement should fall upon Corporation because Corporation put Sam in a position that facilitated his commission of a forgery. Section 3-405(b) treats the fraudulent endorsement as effective only as to a person who took the instrument for value and in good faith. For a discussion of the value issue, see Point Three.

[NOTE: The facts stipulate that Lender took the instrument in good faith. Although the question asks only whether Lender must return the check to Corporation, some applicants might note that any loss caused by this fraud must be shared by Lender if Lender “fail[ed] to exercise ordinary care in . . . taking the instrument and that failure substantially contribute[d] to [the] loss” UCC § 3-405(b).]

Point Three: (15-25%)

An instrument is taken for value if it is taken in payment of an antecedent debt.

In order to be a holder in due course, Lender must have taken the check for “value.” UCC § 3-302(a)(2)(i). Section 3-303(a)(3) says that “[a]n instrument is issued or transferred for value if . . . the instrument is issued or transferred as payment of . . . an antecedent claim against any person, whether or not the claim is due.” In this case, Lender took the \$3,000 check in payment of Sam’s antecedent mortgage debt. Therefore, even though Lender may not have given anything tangible to Sam, Lender still took the check for value. *See Fedeli v. UAP/Ga. Ag. Chem., Inc.*, 514 S.E.2d 684, 690 (Ga. Ct. App. 1999) (holding that a lender who took checks in payment of an existing indebtedness gave “value” for the checks).

Point Four: (15-25%)

Lender did not have notice of Corporation’s claim to the check.

To be a holder in due course, Lender must take the check without notice of any claim to the check. UCC § 3-302(a).

The system of negotiability of checks presumes that checks will be transferred in payment of obligations by persons other than the original payees of the checks. Thus, there is nothing inherently suspicious about a person transferring an indorsed check that was not originally payable to that person. Indeed, the holder-in-due-course rule is designed to encourage persons and businesses like Lender to accept and transfer checks in this manner.

Lender had no knowledge of Sam’s fiduciary status; therefore, Lender cannot be charged with knowledge of Sam’s breach of a fiduciary duty. *Cf.* UCC § 3-307(b)(2) (notice of certain acts constituting breach of fiduciary obligation gives notice of represented person’s claim only where person taking an instrument from a fiduciary “has knowledge of the fiduciary status”). *See Jelmoli Holding, Inc. v. Raymond James Financial Serv., Inc.*, 470 F.3d 14, 19 (1st Cir. 2006) (“plaintiff must show knowledge by the taker, and not just warning clues, that the person

tendering the check is a fiduciary”); *United Catholic Parish Schools of Beaver Dam Educ. Ass’n v. Card Serv. Ctr.*, 636 N.W.2d 206, 212-213 (Wis. Ct. App. 2001) (holding that the taker of an unauthorized check in payment of a personal debt did not have notice of a breach of a fiduciary duty because it did not have actual knowledge of any fiduciary relationship).

Thus, Lender is a holder in due course. It is a holder. It took the instrument in good faith and for value. And it did not have notice of Corporation’s claim to the instrument even though Sam was using the check to pay a personal debt. As a holder in due course, Lender is not subject to Corporation’s claim to the check.

[NOTE: Credit should be given for a reasonable discussion of the notice issue, regardless of the conclusion reached by the applicant.]

TRUSTS I. C.1., E.2., II. B., D.; III. A., B., E.

ANALYSIS

- Legal Problems:
- (1) How can Settlor retain full control of trust assets and income?
 - (2) How can Settlor retain the right to make future additions to the trust?
 - (3) How can Settlor ensure that trust assets are used so that Wife is comfortably provided for after his death?
 - (4) How can Settlor ensure that assets remaining in the trust after Wife's death go to their children and give Wife the power to reward the children in her will?
 - (5) How can Settlor ensure that issue of a child who predeceases Wife will take the deceased child's share of trust principal?

DISCUSSION

Summary

A redlined draft of the trust instrument showing alterations that would better meet Settlor's stated goals follows:

SETTLOR TRUST AGREEMENT

1. I appoint ~~Bank~~ Settlor as trustee of the Settlor Trust and, upon Settlor's death, I appoint Bank as trustee.
2. I reserve the right to revoke this trust at any time, by deed or will.
3. I reserve the right to withdraw and add assets to this trust at any time, by deed or will.
24. I direct ~~Bank~~ the trustee to hold all assets listed on Schedule A in trust and to dispose of these assets as follows:
 - a. Bank Settlor, as trustee, shall pay all trust income to Settlor during Settlor's lifetime.
 - b. After Settlor's death, Bank, as trustee, shall pay such trust income and principal to Wife ~~in such amounts as Bank, in its sole discretion, deems appropriate~~ as is necessary to comfortably provide for her support and maintenance.
 - c. Wife shall have the right to withdraw trust principal as is necessary to comfortably provide for her support and maintenance.
 - d. After Wife's death, Bank shall distribute all remaining trust assets to such one or more of Settlor's issue as Wife shall appoint by will. If Wife does not exercise her power of appointment, Bank shall distribute all remaining trust assets equally

among Settlor's surviving children, share and share alike, provided, however, that if any child of Settlor predeceases Wife leaving issue surviving, the share of the deceased child shall be paid to that child's issue.

35. ~~Bank~~ Settlor accepts and agrees to faithfully carry out the terms of this trust.
[Signatures, dates, and acknowledgments are omitted]

SCHEDULE A

12,000 Shares of XYZ Corporation common stock
\$150,000 (cash)

[NOTE: This new draft does not necessarily represent the best method of meeting Settlor's stated goals, but it does respond to the most obvious deficiencies in Attorney's draft.]

Point One: (20-30%)

Because Settlor wants to retain full control of trust assets, he should retain a power of revocation. To give Settlor more control, he might be also given a right of withdrawal and be named sole trustee.

In some states an inter vivos trust is revocable unless the instrument expressly provides otherwise (*see* UNIF. TRUST CODE § 602(a)), but in most jurisdictions it is irrevocable unless the instrument expressly provides otherwise. Thus a well-drafted trust instrument should always expressly state whether it is revocable or irrevocable.

Here Settlor told Attorney: "I want to fully control trust assets . . . until I die." An irrevocable trust is incompatible with this aim. To ensure that Settlor has the power to revoke as part of a testamentary plan as well as during his lifetime, the revocation clause should expressly provide that it can be exercised by deed or will.

Additional control could be conferred upon Settlor through a retained right of withdrawal. This power would enable Settlor to withdraw assets from the trust without revoking it.

Finally, Settlor could be named sole trustee with Bank the successor trustee. This step would give Settlor complete control of the management and administration of the trust.

Point Two: (10-15%)

Because Settlor contemplated the possibility of adding assets to the trust, the trust should have an additions clause.

As a general proposition, a trustee's duties cannot be unilaterally enlarged by the settlor after the trustee has accepted the office. *See* UNIF. TRUST CODE § 801 (providing that "[u]pon acceptance of a trusteeship, the trustee shall administer the trust in good faith, in accordance with its terms and purposes . . ."). Thus a well-drafted trust instrument should contain an additions clause if the settlor contemplates enlarging the trustee's responsibilities by augmenting the trust with

additional assets. (Even then, however, a trustee may be able to reject additions. *See, e.g.*, UNIF. TRUST CODE § 816.)

Point Three: (20-30%)

Because Settlor wanted to ensure that Wife would be comfortably provided for the trust instrument should require distribution in accordance with an ascertainable standard relating to Wife's maintenance and support, and Wife should be granted a withdrawal power.

Settlor specified that he wanted Wife “to be comfortably provided for.” Granting the trustee discretionary power to distribute income and principal to Wife cannot ensure this result because a beneficiary cannot compel a trustee to distribute trust property not otherwise subject to a standard unless he or she can show an abuse of discretion. *See* UNIF. TRUST CODE § 504(d). An ascertainable standard, such as “comfortable maintenance and support,” sets bounds on the trustee’s discretion and would empower Wife to compel distributions from the trust if necessary.

To further ensure that Wife is comfortably provided for, she could be given a right to withdraw trust principal. Such a power could be unconditional or, as in the revised instrument, might be limited to withdrawals necessary to ensure her comfortable support.

[NOTE: Unconditional withdrawal powers are often limited to \$5,000 or 5 percent of trust principal in order to obtain tax advantages.]

Point Four: (15-25%)

Because Settlor wanted to leave trust principal to his children and to enable Wife “to use trust assets as a way of rewarding, in her will, whichever children have been most helpful,” and also expressed a desire that the descendants of a deceased child should take by substitution, Wife should have been given a special testamentary power of appointment. This power should extend to issue, not just children, to enable Wife to appoint to more remote descendants.

Settlor expressed the desire that his children take remaining trust principal and that Wife have the right to reward their children in her will. He also expressed a desire to have a deceased child’s descendants take the deceased child’s share. To accomplish these goals, Wife should have been given a special testamentary power of appointment. Such a power would enable Wife to favor some children over others, as Settlor wants. But because the exercise of a special power is limited to the group selected by the donor of the power (here, Settlor), Wife could not appoint trust assets to individuals other than Settlor’s issue. The special power would both ensure that trust assets ultimately go to Settlor’s children or more remote descendants and give Wife control. Exercise of a power can also be restricted, as Settlor has specified, to testamentary bequests. No other drafting tool can fully meet all of Settlor’s goals. As drafted, Wife could appoint to a grandchild even if the grandchild’s parent was alive. This could be avoided, if Settlor desired, by providing: “After Wife’s death, Bank shall distribute all remaining trust assets to such one or more of the Settlor’s children and issue of deceased children as Wife”

[NOTE: The word “issue” gives Wife the power to appoint to children as well as more remote descendants. This allows Wife the power, consistent with Settlor’s intent, to give the property to the descendants of the deceased child. (See Point Five.)]

Point Five: (10-20%)

Because Settlor wanted the issue of any deceased child to take his parent’s share of trust assets, the trust instrument should have so specified.

Settlor stated that, “if Son dies before Wife, I’d want his share to go to Grandchild.” Although Settlor did not specify that he would want surviving issue to take the shares of his other children, it’s likely that he focused on Son because Son was the only child to have a child.

In many jurisdictions, the instrument drafted by Attorney will not accomplish the aim of ensuring that surviving issue take their deceased parents’ shares. Many state anti-lapse statutes apply only to testamentary bequests, and the Settlor Trust was established during Settlor’s lifetime. Thus the trust instrument should expressly state that issue take a deceased parent’s share.

CORPORATIONS AND LIMITED LIABILITY COMPANIES I.; III.; V. D.

ANALYSIS

- Legal Problems:
- (1)(a) Can the members of an LLC maintain a direct action against the manager of the LLC for mismanagement of the LLC?
 - (1)(b) Can the members of an LLC maintain a derivative action against the manager of the LLC for mismanagement of the LLC?
 - (2) Were Art's actions a breach of his fiduciary duty of care as the manager of LLC?
 - (3) Can Peter pierce the veil of limited liability of LLC and hold any or all of its members liable for LLC's debt?

DISCUSSION

Summary

If Brett and Chad bring an action against Art for mismanagement of LLC, that action must be a derivative (not direct) action because the harm Brett and Chad suffered was derivative of the injury Art caused LLC. To bring a derivative action, Brett and Chad must comply with the procedural requirements set forth in the Uniform Limited Liability Company Act (ULLCA). These requirements typically mandate a demand upon the managing partner before initiating an action. However, here demand is likely to be excused because Art is unlikely to bring an action against himself.

If Brett and Chad bring a derivative action, they are likely to lose. Under the ULLCA, Art would be liable for a breach of the duty of care only if he acted in a grossly negligent or reckless manner. In jurisdictions that have not adopted the ULLCA, Art would be protected by the business judgment rule.

Most LLC statutes provide that neither members nor managers are personally liable for the debts of an LLC. Courts generally recognize the equitable concept of piercing the veil of limited liability of an LLC. However, the facts in this case do not seem to provide a basis for piercing, and Peter probably cannot recover from Art, Brett, or Chad.

Point One(a): (15-25%)

Members of an LLC cannot maintain a direct action against the manager of the LLC for mismanagement of the LLC.

Members of a manager-managed LLC do not have the right to maintain a direct action against the manager of the LLC when the alleged misconduct caused harm only to the LLC. *See Wright v. Herman*, 230 F.R.D. 1, 10 (2005) (overwhelming majority rule that a claim for an injury to a corporate entity against a manager or officer must be brought derivatively). The operating agreement provides that Art manages LLC. Therefore, this is a manager-managed LLC. It does not matter that Art is also a member of LLC.

Here, the harms that Art caused—failing to manage the business profitably and failing to insure the business properly—were harms to the business and reputation of LLC, not harms directly to Brett and Chad. Because the harms were derivative, not direct, Brett and Chad may not bring a direct action against Art.

[NOTE: If Art breached a contractual obligation to Brett and Chad, they could maintain a direct action against Art. ULLCA § 410(a)(1) permits a member to sue the LLC or another member to enforce the member’s rights under the operating agreement. The facts do not suggest that any violation of the operating agreement occurred.]

Point One(b): (15-25%)

Members of an LLC can maintain a derivative action against the manager of the LLC for mismanagement of the LLC. Normally, members must make a demand on the manager to bring the action. Here, however, demand will likely be excused.

Members of an LLC can maintain a derivative action against the manager of the LLC for mismanagement of the LLC. In order to maintain such an action members must normally first make a demand that the manager bring the action and allege in their complaint the efforts that they made to “secure initiation of the action by [the] . . . manager or the reasons for not making the effort.” ULLCA §1103. Here, however, it is likely that demand would be excused, as Art would have to agree to bring an action against himself. Obviously, this demand would be futile. Therefore, Brett and Chad probably could bring a derivative action without first making a demand on Art, although that action would likely fail. (*See Point Two.*)

Point Two: (20-30%)

Simple negligence does not constitute a violation of a manager’s fiduciary duty of care to the LLC.

Under the ULLCA, managers (or members in a member-managed LLC) owe a duty of care to the LLC, but they are not liable for simple negligence. ULLCA § 409(c) provides that the duty of care consists of “refraining from engaging in grossly negligent conduct or reckless conduct, intentional misconduct, or a knowing violation of law.” Under this standard, the question would be whether Art’s failure to manage LLC profitably and to insure the business rose to the level of gross negligence or reckless conduct.

Some state statutes reject the gross negligence standard of the ULLCA and impose an ordinary negligence standard for evaluating breaches of an LLC manager’s duty of care. Where that is the

case, however, the business judgment rule may be applied to protect LLC managers from liability for business decisions made in good faith. *See* Elizabeth Miller and Thomas E. Rutledge, *The Duty of Finest Loyalty and Reasonable Decisions: The Business Judgment Rule in Unincorporated Business Organizations*, 30 DEL. J. CORP. L. 343, 366-68 (2005). *See also* Revised Uniform Limited Liability Company Act § 409(c) (2006) (adopting an ordinary negligence standard but making an LLC manager's liability for breach of the duty of care subject to the business judgment rule).

Although the precise operation and content of the business judgment rule will vary from state to state, its impact is to shield managers from liability for business decisions. *Brehm v. Eisner*, 746 A.2d 244, 264 n.66 (Del. 2000). Under this rule, a court will not second-guess a manager's decision, even if the decision was a bad one, if the manager acted "on an informed basis, in good faith, and in the honest belief that the action taken was in the best interests of the company." *Aronson v. Lewis*, 473 A.2d 805, 812 (Del. 1984).

Under any of these tests, Art is unlikely to be held liable for the fact that LLC's business failed. The mere fact that LLC was unprofitable does not indicate that Art violated his duty of care. Many businesses operate unprofitably, and no facts suggest that Art was either grossly negligent (as required by the ULLCA) or even negligent in his general operation of LLC's business. In addition, in those jurisdictions that apply a negligence standard, Art would also have the protection of the business judgment rule, and there are no facts to suggest that Art behaved in a way that would take his decisions outside the scope of that rule.

On the other hand, Art is arguably liable for his failure to insure LLC. His failure to sign the insurance premium payment check was clearly negligent and could be characterized as grossly negligent. What's more, in a jurisdiction that imposed an ordinary negligence standard, the business judgment rule might not protect Art from liability for this sort of breach of the duty of care. Generally, the business judgment rule protects business managers from liability for their good faith business decisions; it does not protect them from liability for negligent failures to perform ministerial acts such as signing corporate checks.

[NOTE: An applicant may note that Art is subject to a duty to act in good faith. The ULLCA includes an obligation of good faith and fair dealing among the statutory duties of a manager. *See* §409(d). The facts, however, suggest that Art did act in good faith; thus, Brett and Chad could not maintain a claim for a breach of this duty.]

Point Three: (30-40%)

To pierce the veil of an LLC and hold the members personally liable, a claimant must demonstrate either that the LLC was a mere instrumentality of the individual defendants or that there was a unity of interest and ownership between the LLC and the individual defendants. Here, it is unlikely that Peter can pierce the veil of LLC.

Ordinarily, members of an LLC are not liable for the debts, obligations, or liabilities of an LLC "solely by reason of being or acting as a member." ULLCA §303. However, either by statute, *see, e.g.,* Minn. Stat. § 322B.303(2), or by judicial decision, *see, e.g., Kaycee Land & Livestock*

v. Flahive, 46 P.3d 323 (Wy. 2002), most states to consider the issue have recognized the possibility of piercing the veil of limited liability of an LLC, under appropriate circumstances.

Courts that pierce the veil rely on various theories to do so. Two of the most prominent are the “mere instrumentality” and “unity of interest and ownership” theories. *See, e.g., Litchfield Asset Mgmt. Corp. v. Howell*, 799 A.2d 298 (Conn. App. Ct. 2002).

Under the “mere instrumentality” test, Peter would have to show that (1) the members dominated the entity in such a way that LLC had no will of its own, (2) the members used that domination to commit a fraud or wrong, and (3) the control and wrongful action proximately caused the injury complained of.

Under the “unity of interest and ownership” test, Peter must demonstrate that there was such a unity of interest and ownership between the entity and the members that, in fact, LLC did not have an existence independent of the members and that failure to pierce through to the members would be unjust or inequitable.

Whereas a failure to follow formalities in the operation of the corporation is a factor in corporate veil piercing cases, it is less frequently relevant in LLC cases. This is because many LLC statutes, including the Uniform Limited Liability Company Act, provide explicitly that “the failure of a limited liability company to observe the usual company formalities . . . is not a ground for imposing personal liability on the members or managers.” ULLCA § 303(b). However, in the absence of a statutory bar, some courts will cite a failure to follow formalities in the LLC context as part of the rationale for piercing the LLC veil. *See, e.g., Bonner v. Brunson*, 585 S.E.2d 917 (Ga. Ct. App. 2003).

The decision to pierce the LLC veil is highly fact dependent. The factors that are most likely to lead to an affirmative decision to pierce the veil are facts suggesting that the LLC was simply the “alter ego” of the owners, evidence of serious undercapitalization of the company, or a lack of substantive separation between the business of the company and the personal business of the owners. *See Rapp, Preserving LLC Veil Piercing: A Response to Bainbridge*, 31 IOWA J. CORP. L. 1063 (2006).

Under any of these tests, it seems probable that neither Brett nor Chad could be held liable for the liabilities of LLC as they had no authority to act on behalf of LLC. As to the “mere instrumentality” test, neither Brett nor Chad dominated LLC in a way that it became a “mere instrumentality.” As to the “unity of interest” test, there was not, in any sense, a unity of interest and ownership between Brett and Chad and LLC.

The case against Art may appear stronger, because Art may have dominated LLC, but it is still not likely that Peter could prevail. Under the mere instrumentality test, even if Peter could show that Art dominated LLC, it is not likely that Peter would be able to prove that Art used his domination to commit a fraud or wrong. Although Art sent in the insurance premium without signing the check, this negligence is not sufficiently wrongful to justify piercing the limited liability shield. Under the unity test, Peter could not show that Art had a “unity of interest in ownership with LLC” because Chad and Brett had substantial interests in LLC. Although it

might be argued that LLC was undercapitalized because it could not meet its obligations, its initial capitalization was substantial (\$100,000), and there are no facts to suggest that amount would not have been sufficient capitalization for a business of this sort had it been run more effectively (and had Art purchased insurance as intended).

2008 MEE
Questions and Analyses

2008 MEE Questions and Analyses

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Preface

This publication includes the questions and analyses from the February 2008 and July 2008 Multistate Essay Examinations. Each test includes nine questions; most jurisdictions that use the MEE select the six questions their applicants will answer.

The model analyses to the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions for the sole purpose of assisting graders in grading the examination. These models are not an official grading guide. Some jurisdictions grade the MEE on the basis of state law, and jurisdictions are free to modify the analyses as they wish, including the suggested weights given to particular points. Grading of the MEE is the exclusive responsibility of the jurisdiction using the MEE as part of its admissions process.

The topic or topics covered by each question are listed on the first page of its accompanying analysis, followed by Roman numerals which refer to the MEE subject matter outline for that topic. For example, Question 1 on the February 2008 MEE tested Decedents' Estates I.B.; II.J.3., I. Subject matter outlines are included in the *MEE Information Booklet* and can also be found at www.ncbex.org.

Description of the MEE

The MEE is a three-hour examination consisting of six questions. The examination is administered in one continuous three-hour time period. Applicants are expected to spend approximately thirty minutes answering each of the questions. The areas of law covered by the questions in the examination are: Agency and Partnership, Commercial Paper, Conflict of Laws, Corporations and Limited Liability Companies, Decedents' Estates, Family Law, Federal Civil Procedure, Sales, Secured Transactions, and Trusts and Future Interests. Some questions include issues in more than one area of law.

The purpose of the MEE is to test the applicant's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the applicant to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test form contains the following instructions:

Do not break the seal on this booklet until you are told to begin.

You will have three hours in which to write your answers to the six questions contained in this booklet. Each question is designed to be answered in 30 minutes. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions to follow.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show: an understanding of the facts; a recognition of the issues included; a knowledge of the applicable principles of law; and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Your jurisdiction may instruct you to answer MEE questions according to the law of the jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

February 2008
Questions

MEE Question 1

Six years ago, Testator retired from his work as a business executive. Testator continued to serve as a trustee of several nonprofit organizations and manage all of his own financial affairs. He maintained these activities until his death.

Five years ago, Testator hired a housekeeper, Harriet.

Four years ago, Harriet began to ask Testator to provide for her in his will. She also began to interfere with Testator's relationship with his daughter, Doris. When Doris called, Harriet sometimes falsely told her that Testator was sleeping and could not talk on the phone. When Doris came to visit Testator, Harriet often stayed in the room to overhear their conversations. Harriet also made critical remarks about Doris to Testator and told him that Doris should visit him more regularly.

On a number of occasions, Harriet threatened to quit if Testator did not provide for her in his will. These threats made Testator fearful, particularly during the last year of his life when his declining health made him increasingly dependent on Harriet.

Six months ago, Harriet again threatened to quit if Testator did not provide for her in his will and told Testator that he should see her attorney. Testator told Harriet: "Stop bugging me. I'll see my own attorney."

Three months ago, Testator executed a will in accordance with the applicable statute of wills. The will was drafted by Testator's attorney pursuant to Testator's handwritten instructions.

The will specified as follows:

"I leave my estate in equal shares to my housekeeper, Harriet, and my daughter, Doris."

This is the only will Testator ever executed.

Testator recently died at age 78. Testator left a substantial estate.

Both Harriet and Doris survived Testator. Testator was also survived by a son (Sam), a grandchild (Ella), who was the child of Doris, and a grandchild (Fred), who was the child of Testator's son, Bob. Both Testator's spouse and Bob predeceased Testator. Testator and Sam had been estranged for several years prior to the time of Testator's death.

1. Is the will invalid in whole or in part? Explain.
2. Assuming the will is invalid in whole, to whom and in what shares should Testator's estate be distributed? Explain.
3. Assuming the will is invalid in part, to whom and in what shares should Testator's estate be distributed? Explain.

MEE Question 2

Last month, Paul attended a fund-raising lunch at Library, where he purchased and ate a chicken salad sandwich. Later that day, he became severely ill and was diagnosed with food poisoning. As a result of the food poisoning, Paul developed a permanent digestive disorder.

Several other people also became sick after eating at the lunch, and the Health Department determined that the chicken salad was contaminated with salmonella bacteria. According to the Health Department, raw chicken often contains salmonella bacteria. Although the risk of salmonella contamination cannot be eliminated, proper preparation and cooking can ensure that the chicken is safe for eating. The chicken must be thoroughly cooked, and all utensils or surfaces that come in contact with raw chicken must be thoroughly cleaned with hot water and soap before further use.

The Reading Club had initiated and planned the Library's first and only fund-raising lunch. Ann, Bill, and Chuck independently volunteered to make the chicken salad. Each made a separate batch of salad, using their own recipes and working individually at their own homes. Another volunteer combined the three batches of salad at Library, and a Library employee sold sandwiches at the lunch. All lunch profits went to Library.

Ann, Bill, and Chuck each purchased their chicken from Supermarket. The chicken was contained in packages labeled with a prominent warning describing the risk of salmonella contamination and the precautions necessary to avoid those risks.

A Health Department spokesperson has said that "Someone who made the chicken salad did not take proper precautions." Ann, Bill, and Chuck all claim they took the proper precautions.

Paul has consulted an attorney about bringing a tort action against: 1) Library, 2) Supermarket, and 3) Ann, Bill, and Chuck. If Paul can prove only the facts outlined above:

1. Can Library be found liable to Paul under a strict liability theory? Explain.
2. Can Supermarket be found liable to Paul under a strict liability theory? Explain.
3. Can Ann, Bill, and Chuck be found liable to Paul under either a strict liability or negligence theory? Explain.

MEE Question 3

Husband and Wife married 10 years ago. Shortly thereafter, Husband adopted Wife's two children, Amy, age 6, and Bert, age 9. Neither Amy nor Bert has ever had a relationship with their biological father.

One year ago, Husband and Wife were divorced. The divorce decree provided that:

- (1) Husband shall pay Wife \$1,000 per month in child support for Amy until Amy is 18 years old;
- (2) Husband shall pay child support in the form of college tuition up to \$20,000 per year for both Amy and Bert.

Three months ago, Husband stopped making support payments for Amy and college tuition payments for Bert. Husband stopped paying for two reasons:

First, Husband was disinclined to continue supporting Amy and Bert, now ages 16 and 19, respectively. Since the divorce, Husband has quarreled frequently with both children. Bert also disobeyed Husband and joined a rock band that plays at a local bar four nights per week. Since joining the band, Bert's college grades slipped from A's to C's, and he was arrested for driving while intoxicated. Bert has refused Husband's requests that he leave the band and devote more time to study.

Second, Husband, who formerly worked 40 to 60 hours per week, is now working only 10 to 20 hours per week so that he can finish writing a novel. Husband has worked on the novel sporadically over the past few years, but has not had time to complete it. Husband's current income is only 25% of what it was when he was employed full time.

Wife, who works full time at the job she has held since her marriage to Husband, has neither reduced nor increased her income since the divorce. Since Husband stopped paying support, she has been borrowing money to meet the family's expenses.

Wife recently filed a petition to obtain a judgment against Husband for the child-support arrears and Bert's tuition. Husband responded with a petition seeking:

- (1) a dissolution of his adoption of Amy and Bert on the basis of irreconcilable differences;
- (2) downward modification of all of his support obligations, on account of his reduced income, retroactive to the date on which Husband stopped making support and tuition payments; and
- (3) a declaration that Husband need not pay Bert's college tuition so long as Bert continues to perform in a rock band.

The age of majority in the state is 18. The trial court entered judgment in favor of Wife and denied Husband's petition in all respects.

Did the trial court err? Explain.

MEE Question 4

Victor was taken by ambulance to a hospital. Standard hospital practice requires the admitting nurse in the emergency room to record all information provided by a patient about the cause of the patient's illness or injury. Following that practice, the admitting nurse, Nurse, asked Victor: "What happened?" Victor responded: "I was stabbed with a big knife. Dan did it." Nurse immediately wrote Victor's statement in the appropriate place in the hospital record.

One week after his hospital admission, Victor unexpectedly died as a result of the stab wound. Dan was charged with Victor's murder.

When Victor's wife, Wife, heard of Dan's arrest, she was shocked. She told Friend, "When Victor and I were alone together in the hospital, he told me who stabbed him, and it wasn't Dan!" But Wife refused to tell Friend whom Victor had identified as his assailant.

During the trial, in order to prove that Dan stabbed Victor, the prosecutor offered the hospital record made by Nurse that contained Victor's statement that Dan stabbed him. The prosecutor cannot locate Nurse to testify at trial. Defense counsel objected to admission of the hospital record and the statements in it, but the court overruled the objection.

During the presentation of Dan's case, defense counsel suggested that Victor had been attacked by Stepson, Wife's child by a previous marriage. Defense counsel called Wife as a witness and questioned her concerning Victor's statement to her about the identity of his assailant. Wife refused to answer on the basis of the marital privilege. The prosecutor objected to the questions directed to Wife on the grounds that they sought to elicit hearsay. The court sustained both Wife's claim of privilege and the prosecutor's hearsay objection.

1. Did the trial court err in admitting into evidence the hospital record containing Victor's statement? Explain.
2. Did the trial court err in sustaining Wife's claim of privilege? Explain.
3. Did the trial court err in sustaining the prosecutor's hearsay objection to Wife's testimony? Explain.

MEE Question 5

Cal is the CEO and chairman of the 12-member board of directors of Prime, Inc. (Prime). Three other members of Prime's board of directors (the Board) are also senior officers of Prime. The remaining eight members of the Board are wholly independent directors.

Recently, the Board decided to hire a consulting firm to help Prime market a new product. The Board met to consider whether to hire Wiseman Consulting (Wiseman) or Smart Group (Smart). The Board first heard from a representative of Wiseman. The Wiseman representative described some of the projects Wiseman had completed for other clients and outlined the work it proposed to do for Prime for \$500,000. The Board then heard from a representative of Smart, another consulting firm. The Smart representative described a similar work plan and stated that Smart's proposed fee was \$650,000. Either of these amounts would be a significant outlay for Prime.

After the Board heard both presentations, Cal disclosed to the Board that he had a 25% partnership interest in Smart. Cal stated that he would not be involved in any work to be performed by Smart for Prime. He knew but did not disclose to the Board that Smart's proposed fee for this consulting assignment was substantially higher than it normally charged for comparable work. The Board did not ask about the basis for Smart's proposed fee.

After receiving all of this information, and no other information, the Board discussed the relative merits of the two proposals for 10 minutes. The Board then voted unanimously (Cal abstaining) to hire Smart, even though hiring Smart would cost Prime approximately 30% more than hiring Wiseman. Cal was present throughout the meeting but did not participate except to the extent indicated above.

1. Did Cal violate his duty of loyalty to Prime? Explain.
2. Assuming Cal breached his duty of loyalty to Prime, does he have any defense to liability? Explain.
3. Did the directors of Prime, other than Cal, violate their duty of care? Explain.

MEE Question 6

Plaintiff worked for Corporation. In her fifth year of employment, Plaintiff complained that she had been passed over for promotion to a management position in favor of a less experienced male colleague. Shortly after voicing her discontent, Plaintiff was fired. Plaintiff sued Corporation in federal district court alleging that she was fired because of sex discrimination in violation of federal law. Corporation filed an answer denying the material allegations of the complaint and alleging that Plaintiff was fired for inadequate work performance.

During voir dire, the court asked each prospective juror whether he or she had ever been a party to an employment discrimination lawsuit. None of the prospective jurors answered in the affirmative.

At trial, Plaintiff offered evidence to support her claim that she had been fired for discriminatory reasons. Her evidence included testimony by a former co-worker relating a conversation the co-worker had had with Plaintiff's supervisor. In the conversation, the supervisor reportedly said that women were ill-suited for managerial positions and that men didn't like taking orders from women.

At the close of Plaintiff's evidence, Corporation moved for judgment as a matter of law (JMOL). The court denied the motion. Corporation then submitted its own evidence. The evidence consisted primarily of Plaintiff's employment records and testimony by Plaintiff's supervisor, who testified that Plaintiff's work had been rated unsatisfactory several times in the past.

At the close of all the evidence, neither party made further motions. After instructions from the court, the case was submitted to the jury. The jury deliberated for several hours and then returned a verdict for Plaintiff. The jury specifically found that Plaintiff had been passed over for promotion and fired as the result of sex discrimination and that she was entitled to backpay and reinstatement.

Two days after the entry of judgment, Corporation learned for the first time that the jury foreperson had previously filed and lost two employment discrimination lawsuits and that, upon learning she was part of the jury pool in this case, had said to a friend, "I'm going to get on that jury and stick it to Corporation. Somebody needs to teach these companies not to discriminate."

Eight days after the entry of judgment, Corporation moved for a post-judgment JMOL or, in the alternative, for a new trial. Corporation made two arguments. First, Corporation claimed that the evidence it presented at trial regarding the reasons for Plaintiff's termination was more persuasive and more credible than Plaintiff's evidence. Second, Corporation claimed that a new trial is required because of the jury foreperson's failure to disclose during voir dire her prior involvement in employment discrimination lawsuits.

The trial judge believes that Corporation's evidence at trial was more credible and persuasive than Plaintiff's. The trial judge also believes that Corporation's information about the jury foreperson's prior experiences and her statements to her friend is credible and suggestive of possible juror bias.

1. Was Corporation's motion for a post-judgment JMOL procedurally proper? Explain.
2. Without regard to its procedural propriety, should the trial court grant Corporation's motion for a post-judgment JMOL? Explain.
3. Should the trial court grant Corporation's motion for a new trial on the ground that Corporation's evidence was more persuasive and credible than Plaintiff's evidence? Explain.
4. Should the trial court grant Corporation's motion for a new trial because of the jury foreperson's conduct? Explain.

MEE Question 7

On October 1, Dart Corporation (DC), a State A corporation, borrowed \$300,000 from State Bank, a State A bank. On behalf of DC, DC's president signed a written security agreement giving State Bank a security interest in DC's State Bank checking account (a demand account) to secure its obligation to repay the loan. State Bank did not file a financing statement reflecting that interest.

On December 1, First Bank, another State A bank, agreed to loan \$60,000 to DC. DC's president, on behalf of DC, signed a written security agreement granting First Bank a security interest in all of DC's "office equipment and deposit accounts." First Bank immediately advanced \$60,000 to DC and filed a financing statement reflecting its interest.

First Bank's financing statement was filed in the correct filing office in State A and listed the collateral as "office equipment and deposit accounts." It correctly identified First Bank as the secured party, and it correctly gave the address of the debtor as "123 Smith Street, City, State A." However, First Bank's financing statement incorrectly listed the name of the debtor as "Dart Incorporated," rather than "Dart Corporation," the correct name of the company as reflected on its certificate of incorporation and other public records. Despite this error, a search under the name "Dart Corporation" using the State A filing office's standard search logic would turn up the financing statement listing "Dart Incorporated" as the debtor.

Shortly after receiving the loan from First Bank, DC defaulted on the obligations it owed to State Bank and First Bank.

On December 23, State Bank obtained a judgment against DC in connection with its unpaid \$300,000 loan.

On January 3 of the following year, a State A sheriff levied on DC's office equipment on behalf of State Bank.

1. As between First Bank and State Bank, which has a superior claim to DC's checking account at State Bank? Explain.
2. As between First Bank and State Bank, which has a superior claim to DC's office equipment? Explain.

MEE Question 8

On April 10, a convenience store was robbed by someone carrying a gun. The store's video camera caught the robbery on tape. The tape was shown on the evening news.

On April 11, an anonymous caller contacted the police saying, "I saw that tape of the robbery. The robber kind of looks like Student. He's an 18-year-old student at the high school."

On April 12, two police officers took the tape to the high school and showed it to the principal, who said, "It could be Student. It's hard to tell because the tape is not clear." The tape was also shown to Student's homeroom teacher, who said, "It might be him, but I couldn't say for sure."

Later that day, the police officers went to the store where Student works after school. They asked the manager if they could talk with Student, who was called to the manager's office. The police introduced themselves to Student and said, "We'd like to talk to you." They walked with Student into the manager's office and shut the door. One police officer sat behind the manager's desk; the other, in full uniform with his revolver visible, sat near the door. Student sat between them. The manager's office measures eight feet by ten feet.

The police officers told Student they wanted to ask him some questions about the convenience store robbery on April 10. Student said he knew nothing about a robbery. He continued to deny that he had any knowledge of the robbery for about 20 minutes. Student did not ask to leave, and neither police officer told Student he was free to leave.

After about 20 minutes, the police officers told Student that they had a videotape of the robbery and that they had shown it to three people, all of whom positively identified Student as the robber.

Student said nothing for a few minutes. One of the police officers then said, "You know, if we can tell the prosecutor that you cooperated, she might go a lot easier on you. I'd hate to see you end up doing a long stretch in prison. Let's just say it's not a nice place." Student then blurted out, "I did the robbery. I used a little air gun."

Immediately after Student made that statement, the police officers informed Student that he was under arrest for the robbery of the convenience store. They read him his *Miranda* rights. Student stated he understood his *Miranda* rights and told the police officers that he was not going to say anything more to them. The police officers placed Student in handcuffs and took him to the police station where he was booked for armed robbery.

Student had had two earlier brushes with the law. When he was 16, he had been found delinquent in juvenile court for auto theft and had been placed on supervision for one year. When he was 17, he had received a ticket for underage drinking and had paid a fine of \$150. He is a "C" student, but his teachers believe he is an "underachiever."

Student's defense attorney has filed a motion to suppress Student's statements on three grounds:

- (1) Student's statements were obtained in violation of Student's Fourth Amendment rights.
- (2) Student's statements were obtained in violation of his *Miranda* rights.
- (3) Student's confession was not voluntary.

How should the trial court rule on each of the grounds in the motion to suppress? Explain.

MEE Question 9

Six years ago, Settlor created a valid inter vivos irrevocable trust. Settlor funded the trust with publicly traded securities, named Friend as sole trustee, and directed Friend, as trustee, to distribute all trust income to James, whom Settlor had been supporting for several years. Settlor also gave James the right to withdraw up to 5% of the trust's principal annually during the first 10 years of the trust's existence.

Four years ago, Friend sold all of the trust's publicly traded securities and reinvested 45% of the proceeds in the preferred stock of A Corp., 45% of the proceeds in the preferred stock of B Corp., and 10% of the proceeds in different publicly traded securities. Both A Corp. and B Corp. were closely held companies that were newly organized and cash poor. Their preferred stocks were not publicly traded and were subject to valid restraints on alienation that effectively made them nontransferable by the trustee for the next 10 years. Furthermore, although both preferred stocks guaranteed an annual 5% dividend, these dividends were not payable until after the 10-year restraint-on-alienation period had expired.

At the time Friend invested in the preferred stocks of A Corp. and B Corp., both companies were developing competing technologies to make ballpoint pens that also function as cell phones. Neither company had yet developed working prototypes of the proposed product. Friend honestly believed that the preferred stocks represented a safe investment that would produce returns in excess of those available from any other investment. Friend did not individually own any preferred stock of A Corp. or B Corp. However, Friend did individually own 70% of the common stock of A Corp., but had no interest in B Corp.

Despite Friend's confidence, the A Corp. and B Corp. investments have proven disastrous. Since the preferred stocks were purchased, neither company has succeeded in producing a marketable product or making a profit. Both are now near bankruptcy. Moreover, because the stocks have not paid dividends and cannot be sold, James's income from the trust has declined precipitously. Furthermore, because of the valid restraints on alienation, Friend has truthfully told James that any withdrawal requests cannot be honored.

Friend has consulted your law firm, concerned that he may have breached one or more of his fiduciary duties. Explain to Friend which duties, if any, he may have breached in carrying out his responsibilities.

February 2008
Analyses

DECEDENTS' ESTATES I.B.; II.J.3., I

ANALYSIS

- Legal Problems:
- (1) Did Harriet unduly influence Testator to make her a beneficiary under his will?
 - (2) If Harriet unduly influenced Testator, is his will partially or entirely invalid?
 - (3) To whom should Testator's estate be distributed if:
 - (a) the will is entirely invalid?
 - (b) the will is partially invalid?

DISCUSSION

Summary

Testator's will is invalid, in whole or in part, if it was the product of undue influence. Here, the facts are not conclusive, but may support an undue influence finding. If the will is valid, the estate will pass in equal shares to Harriet and Doris.

If the bequest to Harriet was the product of undue influence, the court may invalidate the entire will or only Harriet's bequest. If the entire will is invalidated, the estate would pass under the laws of intestate succession: Doris, Sam, and Fred, who would take as the representative of his deceased parent, Bob, would take equal 1/3 shares.

If only the bequest to Harriet is invalidated, one-half of the estate would pass to Doris under the will and the remaining half would pass either to Doris as the remaining residuary legatee or, if the common law "no residue of a residue" rule is applied, to Doris, Sam, and Fred under the laws of intestate succession. In that case, Doris would take 2/3 of the estate, and Sam and Fred would each take 1/6.

Point One: (35–45%)

The court may find that Testator's will, in whole or in part, was the product of Harriet's undue influence.

If a will or portion of a will is the product of undue influence, it may be set aside. Undue influence occurs when the "wrongdoer exerted such influence over the [testator] that it overcame the [testator's] free will and caused the [testator] to make a donative transfer that the [testator] would not otherwise have made." RESTATEMENT (THIRD) OF PROPERTY (WILLS AND OTHER DONATIVE TRANSFERS) § 8.3(b) (2003). The burden of establishing undue influence is on the will contestant, who must show that: (1) the testator was susceptible to undue influence, (2) the

alleged wrongdoer had the opportunity to exert undue influence upon the testator, (3) the alleged wrongdoer had a disposition to exert undue influence, and (4) the will appears to be the product of undue influence. *Id.* at cmt. e. Undue influence may be established by circumstantial evidence. *See generally Estate of Kamesar*, 259 N.W.2d 733, 737–38 (Wis. 1977).

The facts of this case, if proven at trial, would certainly establish that Harriet had opportunity and a disposition to influence Testator. Harriet lived in Testator's home, criticized and limited his contacts with Doris, a natural object of Testator's bounty, and urged him repeatedly to make a will in her favor. The will contestant should also be able to show that the bequest to Harriet was linked to her attempts to influence the will, as Testator executed the will only after Harriet threatened to quit and at a time when he had become increasingly dependent upon her; Testator also bequeathed to Harriet, an employee who was not the natural object of his bounty, one-half of his probate estate.

The facts do not so clearly establish Testator's susceptibility to undue influence. On the one hand, Testator was increasingly ill and dependent on Harriet. He also agreed to see an attorney after Harriet threatened him. On the other hand, Testator maintained control over his financial affairs until his death, continued to play an active role as trustee of various nonprofits, refused to see the attorney Harriet suggested, and communicated his dispositional plan to his own attorney through handwritten instructions.

Because the evidence is inconclusive, the outcome might depend on who bears the burden of proof. Normally, this rests on the party challenging the will. However, in many jurisdictions, a presumption of undue influence arises when there is a confidential relationship between the testator and the alleged influencer and suspicious circumstances surround the drafting of the will. Most of the cases involving confidential relationships involve attorneys and close relatives; it is not clear that a confidential relationship between Testator and Harriet could be established in this case. But if it were, then the burden of proof on the issue of undue influence would shift to Harriet.

Point Two: (10–20%)

If the court finds that the bequest to Harriet was the product of undue influence, it may invalidate the entire will or only the bequest to Harriet.

A finding of undue influence may lead a court to invalidate the entire will or only a portion of it. Most courts will invalidate only those portions that are “infected” by undue influence. *See Williams v. Crickman*, 405 N.E.2d 799 (Ill. 1980). Clearly, if there was undue influence, it affected the bequest to Harriet and that bequest should be invalidated.

It is less clear whether the entire will was infected by Harriet's undue influence. Given his estrangement from Sam, it is possible that Testator would have left his entire estate to Doris had he not left a one-half share to Harriet. However, it is also possible that Testator might have left a share of the estate to his grandchild, Fred; the facts do not show that Testator was estranged from either Fred or Fred's deceased parent, Bob. Testator might also have left a share to Sam's child,

Ella, or even to Sam himself. Indeed, Testator might not have executed a will at all. Given this uncertainty, the court might invalidate the entire will or only the bequest to Harriet.

Point Three(a): (10–20%)

If the entire will is invalidated, Testator’s estate would pass to his heirs, Doris, Sam, and Fred.

Assuming that the court invalidates the entire will as the product of undue influence, Testator’s estate will be distributed to his heirs. In every jurisdiction, Testator’s heirs would be his two surviving children, Doris and Sam, and his grandchild, Fred, who takes as the representative of Testator’s deceased child, Bob. Doris’s child, Ella, would not take as an heir because Doris survived Testator and there is no basis for Ella to represent her mother. *See* UNIF. PROB. CODE §§ 2-101, 2-106.

Point Three(b): (15–25%)

If the bequest to Harriet alone is invalidated, Harriet’s one-half share of the estate would either pass to Doris in its entirety or be distributed equally to Doris, Sam, and Fred, depending on whether the jurisdiction applies the common law “no residue of a residue” rule.

When a residuary bequest fails, the question arises as to whether the invalidated share passes to the testator’s heirs or to the remaining residuary legatee(s). Under the common law “no residue of a residue” rule, the invalid share passes to the testator’s heirs. *See* WILLIAM M. MCGOVERN & SHELDON F. KURTZ, *WILLS, TRUSTS AND ESTATES* 335 n. 73 (3d ed. 2004). The theory behind this approach is that, if the invalid share were to pass to the remaining residuary legatee, it would increase her share without an executed bequest and thus violate the policies that underlie typical statutory execution requirements. Under the common law approach, Doris would take one-half of the estate under the will, and the remaining half would be distributed in equal shares to Doris, Sam, and Fred under the law of intestate succession. (*See* Point Three(a) above.)

Many courts today reject the common law rule, theorizing that the testator’s execution of a will evidences an intention to benefit the legatees named in the will to the exclusion of heirs, particularly would-be heirs not mentioned in the will. This “residue of a residue” approach has been adopted in Uniform Probate Code § 2-604. Under this approach, Harriet’s invalid share would go to Doris, the only other residuary legatee. Neither Sam nor Fred would take a share of Testator’s estate.

TORTS II.B.1., C., D.3.; IV.

ANALYSIS

- Legal Problems:
- (1) Is Library, an occasional, noncommercial product seller, strictly liable to Paul?
 - (2)(a) Is Supermarket, a commercial product seller, strictly liable for injuries to Paul when it did not produce or alter the defective product and did not sell the product to Paul?
 - (2)(b) Is a product defective when the risk cannot be eliminated and the product comes with adequate warnings?
 - (3) May Paul recover damages from any of Ann, Bill, or Chuck when he cannot show who was negligent and caused his injury?

DISCUSSION

Summary

If Paul proves only the facts given in the problem, he will not be able to recover damages from any of the parties. Paul cannot recover damages from Library because, as an occasional, noncommercial seller of food, Library is not strictly liable for injuries caused by its food. Paul cannot recover damages from Supermarket either. Although Supermarket, as a commercial seller, is strictly liable for defective products, here the product was not defective as it was prominently labeled as possibly having salmonella bacteria, and the risk of salmonella contamination cannot be eliminated. There is evidence that at least one of Ann, Bill, or Chuck was negligent in the preparation of the chicken salad that caused Paul's injury. If Paul could establish which party was negligent, he could recover damages from that individual. However, Paul cannot establish which party was negligent, and the doctrines of *res ipsa loquitur*, alternative liability, and joint enterprise liability are all unavailable to assist Paul in his claim.

Point One: (15–25%)

Strict products liability is only available against commercial product sellers. Thus Library cannot be liable because it is not a commercial product seller.

“One who sells any product in a defective condition unreasonably dangerous to the user or consumer . . . is subject to liability for physical harm thereby caused. . . .” RESTATEMENT (SECOND) OF TORTS § 402A (1966). The chicken salad sandwich that Paul consumed was unreasonably dangerous to the consumer because it contained salmonella bacteria. Thus, if Library had been a restaurant or other commercial entity, Paul would have a viable products liability action. In that action, he would not need to establish negligence on the part of Library.

However, a strict products liability action is only available against a “person engaged in the business of selling products for use or consumption.” *Id.* § 402A cmt. f; RESTATEMENT (THIRD) OF THE LAW OF PRODUCTS LIABILITY § 1 (1998). Because the facts do not establish that Library is a commercial seller, Paul’s action against Library will fail on that ground.

Point Two(a): (10–20%)

A commercial seller may be found strictly liable for a defective product it sells even if the seller did not produce the product and the injured party did not purchase the product from the seller.

Strict products liability applies to all commercial sellers. Even a retailer who has no control over the design and manufacture of a product may be found strictly liable if that retailer sells a defective product. Because Supermarket is a commercial seller, it may be found liable if the chicken it sold was defective. *See* RESTATEMENT (SECOND) OF TORTS § 402A.

The fact that Paul did not purchase the chicken himself does not alter the result. Modern products liability law applies to bystanders as well as purchasers. The “privity of contract” approach has everywhere been abandoned. *See id.* (establishing strict liability for injuries to “ultimate user or consumer”); *see also* 2 DAN DOBBS, THE LAW OF TORTS § 353 (2001).

Point Two(b): (15–25%)

A product seller is liable only for a defective product. Because the risk of salmonella contamination cannot be eliminated from raw chicken and the product was accompanied by detailed warnings, the chicken sold by Supermarket was not defective.

A product is defective when it is unreasonably dangerous. A product may be defective because it has a manufacturing defect, because it is defective in design, or because it provides inadequate instructions or warnings. The chicken sold by Supermarket carried adequate warnings of the risk of salmonella contamination and instructions on how to cook the chicken to ensure that it was safe for eating. The chicken sold by Supermarket did not contain a manufacturing or design defect as the risk of salmonella contamination is inherent in raw chicken and cannot be eliminated. Thus, the chicken conformed to the producer’s specifications, and those specifications could not be altered. Because the chicken was not defective, Paul cannot recover damages from Supermarket. *See generally* DOBBS, *supra*, § 354.

Point Three: (25–35%)

Paul could recover on a negligence theory against Ann, Bill, or Chuck if, and only if, he could show which of them was negligent in preparing the chicken salad. Furthermore, merely the fact that these batches of chicken salad were mixed together doesn’t make Ann, Bill, and Chuck joint tortfeasors because there is no evidence they were engaged in a joint venture or joint enterprise. In fact they acted independently of one another. Paul cannot recover on a strict liability theory because Ann, Bill, and Chuck are not product sellers.

The Health Department said that someone who made the chicken salad that Paul ate used improper precautions. The evidence thus shows that one of Ann, Bill, or Chuck was negligent, that is, failed to exercise reasonable care under the circumstances.

Even though Paul cannot show how the negligence occurred, he could still recover if only one individual had made the salad. In such a situation, Paul could use the doctrine of *res ipsa loquitur*, which permits the jury to infer negligence when “the event is of a kind which ordinarily does not occur in the absence of negligence; . . . other responsible causes . . . are sufficiently eliminated by the evidence; . . . and the indicated negligence is within the scope of the defendant’s duty to the plaintiff.” RESTATEMENT (SECOND) OF TORTS § 328D(1)(a)–(c). Paul can meet the first and third of these requirements: the Health Department has said that salmonella contamination does not occur when chicken is cooked and prepared properly. The salad preparers owed a duty to Paul as he was a lunch patron who would foreseeably have been expected to consume the chicken salad. However, Paul cannot establish that any *one* defendant had control of the chicken salad, as there were two other individuals who made salad independently. *See Samson v. Riesing*, 215 N.W.2d 662, 667–68 (Wis. 1974). Nor can Paul show that Ann, Bill, and Chuck have better information about who was negligent or are engaged in a conspiracy of silence. *See Ybarra v. Spangard*, 154 P.2d 687 (Cal. 1944).

There are other doctrines that permit the jury to find a defendant liable even when there is more than one defendant and the plaintiff cannot show which defendant’s conduct caused his injury. However, none of these doctrines would help Paul to establish the liability of Ann, Bill, or Chuck. The “alternative liability” doctrine, which permits the jury to find two defendants liable when each was negligent and either individual could have caused the plaintiff’s injuries, is unavailable because Paul cannot show that all defendants were negligent. *See Summers v. Tice*, 199 P.2d 1 (Cal. 1948); RESTATEMENT (SECOND) OF TORTS § 433B(3). The “joint venture” or “joint enterprise” doctrine allows the jury to impute one defendant’s negligence to other defendants who are engaged in a common project or enterprise and who have an explicit or implied understanding about how the project is to be carried out. *See DOBBS, THE LAW OF TORTS* § 340. However, Paul cannot show that Ann, Bill, and Chuck had any common understanding. The facts state that Ann, Bill, and Chuck acted independently in making their respective batches of chicken salad.

Thus, because Paul cannot show which defendant was negligent, he cannot recover damages from Ann, Bill, or Chuck.

A strict products liability action would not be available against Ann, Bill, or Chuck because none is a product seller. Moreover, even if a products liability action were available, it would still be necessary to identify the source of the defective product, here the contaminated chicken salad.

FAMILY LAW III.F., G.; VI.B.; VII.

ANALYSIS

- Legal Problems:
- (1) May an adoptive parent dissolve the adoption of a stepchild based on a quarrelsome relationship with the child?
 - (2) May a support obligor obtain retroactive modification of a support obligation?
 - (3) May a support obligor obtain downward modification of his future support obligation based on a voluntary reduction of his income?
 - (4) May a divorced parent of a 19-year-old college student refuse to support that student when the student has refused to obey reasonable parental commands?

DISCUSSION

Summary

A quarrelsome relationship with an adoptee is not a valid basis for dissolving an adoption. Husband is thus obligated to support Ann and Bert. Moreover, because retroactive modification of a child support obligation is forbidden by federal law, Husband may not obtain termination or reduction of his support obligation for the period before he sought modification. Modification of a future support obligation may be obtained based on a substantial change in circumstances, but a voluntary reduction in income does not warrant downward modification unless it was made in good faith. Many courts also take the needs and interests of the supported child into account. Thus the court probably did not err in denying Husband's petition to modify his obligation to support Ann. But the court probably did err in denying Husband's petition to modify his obligation to Bert, as Bert, an employable college student, had refused to obey reasonable parental commands.

Point One: (20–30%)

The court did not err in refusing to dissolve Husband's adoption of Ann and Bert.

An adoption order works as a complete—and final—transfer of parental rights and responsibilities. Traditionally, an adoption order could not be dissolved for any reason. In recent years, some states have enacted statutes authorizing dissolution of adoption in special circumstances, such as the discovery of an undisclosed mental or physical illness. *See, e.g., CAL. FAM. CODE § 9100 (2007)*. Stepparent adoptions are no easier to undo than stranger adoptions.

In evaluating dissolution claims, courts typically look to the length of the relationship, the child's needs, and the parent's motives. *See Annot., Annulment or Vacation of Adoption Decree by Adopting Parent or Natural Parent Consenting to Adoption*, 2 A.L.R.2d 887, § 8 (1948). Here,

Husband has been Ann's and Bert's parent for more than a decade and the only father they have known. Ann needs Husband's continuing support. The fact that Husband has reduced his income strongly suggests that he seeks dissolution, at least in part, for financial reasons. Moreover, the only reason that Husband can offer for dissolution, the fact that he had disagreements with teenagers Ann and Bert, is clearly inadequate. The trial court thus did not err in denying Husband's petition to dissolve the adoption.

Point Two: (10–15%)

The court did not err in refusing to retroactively modify Husband's support obligation.

Federal law absolutely forbids retroactive modification of child support obligations. *See* 42 U.S.C. § 666(a)(9). The trial court thus did not err in refusing to retroactively modify Husband's child support obligation.

Additionally, state courts have long held that the obligation to pay accrued and unpaid installments of child support may not ordinarily be modified. "If the hardship is particularly severe, the courts [have] sometimes devise[d] a way to protect the obligor, but in most instances the courts hold that retroactive modification of this kind is beyond their power and indeed the governing statute may so provide." HOMER H. CLARK, *THE LAW OF DOMESTIC RELATIONSHIPS IN THE UNITED STATES* 725 (2d ed. 1988). Here, because Wife commenced an enforcement action within a few months of when Husband ceased making payments and thereby limited the accrual of arrears, Husband has no basis for establishing a particularly severe hardship.

Point Three: (25–35%)

The trial court probably did not err in refusing to reduce Husband's future support obligation to Ann. A support obligor's voluntary income reduction cannot be used to obtain downward modification of his future support obligation unless the reduction was made in good faith. Even a good-faith income reduction may be inadequate to obtain downward modification if the court finds that the child(ren) would suffer hardship without an offsetting benefit.

In order to obtain modification of a future support obligation, the petitioner must show a substantial change in circumstances. Courts will generally find that a significant *involuntary* income reduction represents a substantial change warranting relief. But when the income loss is *voluntary*, they invariably require a showing that the reduction was made in good faith and not for the purpose of depriving the child or punishing the custodial parent.

Some courts will grant downward modification based solely on a showing of good faith on the theory that, if a married parent can reduce his income even if it negatively affects his children's living standard, a divorced parent should have the same right. Others will not grant downward modification if the support reduction would impose a significant hardship on the children. Many take a multifactor approach that balances the short- and long-term interests of both parent and child. *See* HARRY E. KRAUSE ET AL., *FAMILY LAW: CASES, COMMENTS, QUESTIONS* 1015 (5th ed. 2003).

If the court were to consider hardship or engage in an interest-balancing analysis, the facts support denial of Husband's petition. A temporary income reduction for training that will produce a future income gain is sometimes a valid basis for modification. However, Husband's income reduction does not have any obvious end point nor is it calculated to give the children future benefits. Even if Husband succeeds in becoming a successful novelist, the children's ages (16 and 19) would likely preclude a higher future support award to offset the current income loss. *See, e.g., Harvey v. Robinson*, 665 A.2d 215, 218 (Me. 1995); *In re Marriage of Ilas*, 16 Cal. Rptr. 2d 345 (1993). Wife, who already works full time, cannot easily make up the lost income nor can she continue to borrow indefinitely. But Husband could easily defer his plan to write a novel or reduce his income much less drastically.

Even if the court looked only at whether the income reduction was made in good faith, there is evidence to support denying Husband's petition. Although Husband's prior work on the novel provides evidence of good faith, the timing of the decision to reduce his income—the very same time that he wanted to stop supporting Ann and Bert—is suspect and suggests bad faith. Thus, the court probably did not err in denying Husband's petition to modify his support obligation to Ann.

Point Four: (15–20%)

Because the support rights of an employable child are contingent on compliance with reasonable parental demands, the trial court probably erred in denying Husband's request for future modification of his support obligation to Bert.

In a number of states, a divorced parent may be required to provide college or other educational support for a child over the age of majority. *See KRAUSE ET AL., supra*, at 881. But both married and divorced parents may terminate support to employable children who disobey reasonable parental commands. *See 67A C.J.S. Parent and Child* § 16 (2002).

Husband's commands to Bert seem reasonable and calculated to serve Bert's best interests. A regular, late-night job at a bar would either prevent Bert from getting enough sleep or prevent him from attending morning classes; the fact that Bert's grades have fallen supports Husband's view that Bert cannot keep up with his studying while performing with the band. Bert's arrest for driving while intoxicated also suggests that he should not be working in a bar. The evidence thus suggests that the trial court erred in denying Husband's request for modification of his college-tuition obligation to Bert.

EVIDENCE I.D.1.; III.A.; V.A., D.

ANALYSIS

- Legal Problems:
- (1)(a) When a hospital record is offered into evidence to prove the truth of an out-of-court statement contained therein, must the record itself, the out-of-court statement, or both be covered by a hearsay exception?
 - (1)(b) Is Nurse's notation of Victor's statement a business record that can be admitted to prove the content of Victor's statement?
 - (1)(c) Is Victor's statement, which relates both to the general cause of his injuries and to the identity of the person causing the injuries, admissible to prove the truth of the matter stated?
 - (2) May a spouse assert the marital privilege in order not to testify with respect to communications with a deceased spouse?
 - (3) When a hearsay statement has been admitted, is an inconsistent hearsay statement admissible to attack the credibility of the hearsay declarant?

DISCUSSION

Summary

Both the hospital record and Victor's statement in it are hearsay, and each must fall within an exception to the hearsay rule in order for Victor's statement to be admissible for its truth. The hospital record falls within the business-records exception to the hearsay rule. Victor's statement that he was stabbed may fall within the hearsay exception for statements relating to medical diagnosis and treatment, but Victor's identification of Dan as his assailant is not pertinent to his medical treatment and would not fall within the medical diagnosis or any other hearsay exception. Consequently, that portion of Victor's statement is inadmissible to prove that Dan stabbed Victor and should have been excluded from evidence.

In most jurisdictions, Wife will be able to invoke the privilege for confidential marital communications and refuse to testify to what Victor told her. In some jurisdictions, however, only the "communicating spouse" can invoke the privilege, so in those jurisdictions, Wife would be required to testify.

If Wife cannot invoke the marital privilege, her testimony as to Victor's identification of his assailant is admissible only for the purposes of impeaching Victor's hearsay declaration that Dan stabbed him. If that hearsay declaration is not admitted, Victor's statement to Wife should also be excluded.

Point One(a): (20–30%)

Because the hospital record is being offered to prove both that Victor made certain statements to Nurse and that those statements are true, it is double hearsay and is admissible only if both the hospital record and the statements made by Victor fall within hearsay exceptions.

Hearsay is an out-of-court statement “offered in evidence to prove the truth of the matter asserted.” FED. R. EVID. 801(c). Hearsay is generally inadmissible. FED. R. EVID. 802.

Here, the hospital record is “double hearsay,” and both levels of hearsay must fall within a hearsay exception or the record is inadmissible. The record itself is the first level of hearsay. The record is an “out-of-court statement,” and the prosecutor is offering it to prove the truth of what it says—that Victor told Nurse that Dan stabbed him. Without Nurse present to prove what she heard Victor say, her “out-of-court statement” about Victor’s words, in the form of her notation in his hospital record, is admissible only if the record falls within a hearsay exception. (*See* Point One(b).)

The prosecutor is also seeking to prove that what Victor said (“Dan stabbed me”) is true. This is also hearsay because Victor’s statement was made out of court and is offered for its truth. Therefore, the prosecutor must show that Victor’s statement falls within a hearsay exception. (*See* Point One(c).)

Point One(b): (20–30%)

The hospital record satisfies the business-records exception to the hearsay rule.

A record of “acts, events, conditions, opinions, or diagnoses” is admissible under the business-records exception to the hearsay rule if it is “made at or near the time” of the recorded event by “a person with knowledge” of the event. FED. R. EVID. 803(6). Additionally, the making of the record must occur in the course of a regularly conducted business activity, and it must be the regular practice of the business to make the record. *Id.* This foundation can be introduced through the testimony of a record custodian or other person with knowledge of the method of record keeping. It is not necessary that the person with knowledge of the matter entered testify at trial. *United States v. Duncan*, 919 F.2d 981, 986 (5th Cir. 1990).

Nurse’s notation in the hospital record concerning Victor’s statements to her falls within the business-records exception. Nurse had personal knowledge of what Victor said, and she wrote down his statements “at or near the time” that he made them. The facts state that it is the regular practice of the hospital to record this sort of information in a patient’s record.

Point One(c): (20–30%)

Victor’s statement to Nurse that he was stabbed may be admissible for the truth of the matter stated because it falls within the hearsay exception for statements made for the purpose of receiving medical diagnosis and treatment; however, Victor’s identification of his assailant as “Dan” is not admissible because it was not pertinent to diagnosis or treatment.

As noted earlier, Victor’s statement is itself hearsay because the prosecutor is offering it to prove the truth of the matter asserted—that Dan stabbed Victor. Therefore, even if the hospital record

is admissible to prove what Victor said, the statement should still be excluded unless Victor's statement itself falls within a hearsay exception.

Statements made by a person who is seeking medical treatment are exempted from the ban on hearsay if the statements concern medical history, symptoms, "or the inception or general character of the cause" of the symptoms. FED. R. EVID. 803(4). Hence, Victor's statement to Nurse about the cause of his injuries may qualify for this hearsay exception.

However, the rationale for this hearsay exception is that statements made by people seeking medical treatment will generally be reliable because of the declarants' knowledge that medical diagnosis or treatment will be facilitated by such statements (or hindered if the statements are false). Thus, this hearsay exception is limited to statements that are "reasonably pertinent to diagnosis or treatment." *Id.*

Statements which relate to the cause of the medical condition being diagnosed or treated are generally viewed as "pertinent to diagnosis or treatment." Thus, Victor's statement that he was stabbed with a knife would fall within the exception and would be admissible. But statements of fault ordinarily are not admitted under this exception, because the identity of the person who was at fault in causing the injury is not relevant to the treatment that is to be given. Thus, the portion of Victor's statement identifying Dan as the assailant is inadmissible. CHRISTOPHER B. MUELLER & LAIRD C. KIRKPATRICK, EVIDENCE § 8.75 (3d ed. 2007).

In short, although the hospital record of what Victor said is admissible even though it is hearsay, Victor's identification of his assailant is also hearsay and is inadmissible because it does not fall within an exception. Therefore, the trial court should not admit the record containing that statement.

Point Two: (20–30%)

The testimonial spousal privilege may only be asserted by a spouse who is testifying against an accused spouse. The marital-confidential-communications privilege can be asserted by either spouse. Wife may assert the privilege and refuse to testify concerning her confidential communications with Victor.

Two evidentiary privileges apply to the marital relationship. The federal courts recognize a testimonial or witness privilege under which a witness-spouse has the right not to testify against an accused spouse in a criminal case. *Trammel v. United States*, 445 U.S. 40 (1980). This privilege is inapplicable in this case because Wife has not been asked to testify against her husband, Victor.

The federal courts and most states also recognize a second privilege for confidential communications between spouses when those communications occur during the marriage. *United States v. Acker*, 52 F.3d 509, 514 (4th Cir. 1995). The privilege protects communications during marriage even if the marriage no longer exists and even if one of the parties to the marriage is dead.

Under the majority view, both spouses hold the privilege for all communications between them. Here, Wife could invoke the privilege and be excused from testifying as to Victor's statements to her because all the requirements of the privilege are met: Victor's statements were statements of one spouse to another in private (it appears that no one overheard them), and neither Wife nor Victor revealed their exact content to anyone else. These confidential communications between spouses are protected by the privilege.

Some courts, however, have taken the position that only the communicating spouse can assert the privilege. Under that minority view, Wife could not assert the privilege and would have to reveal what Victor said. *See* 1 KENNETH S. BROUN ET AL., MCCORMICK ON EVIDENCE § 83 (6th ed. 2006).

Here, however, it is possible that Wife will not be allowed to invoke the privilege because she broke the confidentiality of her communications with her husband when she told Friend, a third party, some of what her husband told her. The marital communications privilege is intended to protect the confidentiality of spousal discussions. Where one spouse has revealed the content of those communications to a third person, then confidentiality no longer exists and the privilege probably should not apply. At the very least, Wife might be required to testify to the fact that she has already revealed to Friend: that Victor told her that he was attacked by someone other than Dan.

Point Three: (10–20%)

The prosecutor's hearsay objection to testimony about Victor's statement to Wife should not have been sustained because the court had previously admitted Victor's hearsay statement that Dan was his assailant. Once an out-of-court statement is offered for its truth, the credibility of the hearsay declarant may be attacked with an inconsistent statement by that declarant, including statements that would otherwise be hearsay. Thus, once Victor's identification of Dan as his assailant was admitted into evidence, his inconsistent statement to Wife could be admitted to attack his credibility.

Victor's statement to Wife that Dan was not his assailant is hearsay (because it was made outside the courtroom) and could not have been admitted to prove the truth of the matter stated. Victor's statement is nonetheless admissible to impeach his credibility.

On the facts, the court has admitted Victor's hearsay statement to Nurse that Dan attacked him. Once a hearsay statement is admitted into evidence, the hearsay declarant's credibility may be attacked just as though the hearsay declarant were a witness at trial. In addition, *any* inconsistent statement made by the hearsay declarant may be admitted to impeach the declarant's credibility. FED. R. EVID. 806. Thus, if the hospital record is admitted to prove that Victor identified Dan as his assailant, then Victor's statement to Wife (identifying someone else as his assailant) is admissible to attack Victor's credibility, despite the existence of the hearsay rule. 4 CHRISTOPHER LOUISELL & LAIRD C. KIRKPATRICK, FEDERAL EVIDENCE § 511 (2d ed. 1994). (Of course, Wife's privilege claim may still prevent admission of the statement.)

CORPORATIONS VI.A.

ANALYSIS

- Legal Problems:
- (1) Did Cal violate his duty of loyalty to Prime by failing to make full disclosure of all relevant information to the Board about a partnership in which he has an interest and with which Prime is considering entering into a transaction?
 - (2) Assuming that Cal violated the duty of loyalty, does he have any defenses to avoid liability?
 - (3) Did the members of Prime's board of directors, other than Cal, violate their duty of care by approving a more expensive contract without full information?

DISCUSSION

Summary

Cal, the CEO and chairman of the board of Prime, owes a fiduciary duty of loyalty to Prime. Even though Cal did not participate in the Board's discussion of the consulting project and even though the contract with Smart was approved by a majority of disinterested directors, Cal breached his duty of loyalty by failing to disclose the substantially higher fee charged to Prime by Smart, a partnership in which Cal has a financial interest. Here, a court would be unlikely to find that the contract was objectively fair to Prime, given Smart's substantially higher fee. Therefore, Cal has no defense to a claim of breach of his duty of loyalty.

The Board may have violated its fiduciary duty of care when it approved the contract with Smart after only a 10-minute discussion and without seeking or receiving full information about the fees to be charged.

Point One: (5–15%)

Cal violated the fiduciary duty of loyalty by allowing Prime to contract with a partnership in which Cal is a partner without fully disclosing all relevant information.

Cal is the CEO and chairman of the board of Prime and therefore has a fiduciary duty of loyalty to Prime. Here, he may have breached that duty because he stands to benefit personally if Smart is hired, since he is a partner in Smart. As a partner, he is presumably entitled to a share of any profits derived from Smart's work for Prime, even if he himself performs no services.

Point Two: (40–50%)

The RMBCA provides three safe harbors for a director who breaches his duty of loyalty: approval by disinterested directors, approval by disinterested shareholders, or fairness. It is

unlikely that any of these safe harbors will protect Cal.

The Revised Model Business Corporation Act §§ 8.60–8.63 (1984, with 2000 amendments) (RMBCA) includes three safe harbors that may protect a director who breaches his duty of loyalty. However, it is unlikely that any of these safe harbors will protect Cal under the facts of this case.

Under the first RMBCA safe harbor, approval by disinterested directors insulates a director's conflicting interest transaction from judicial scrutiny if the interested director disclosed his or her interest and "play[ed] no part, directly or indirectly, in [the disinterested directors'] deliberations or vote." RMBCA §§ 8.61(b)(1) & 8.62(b). The statute also requires disclosure of any information in Cal's possession that "an ordinarily prudent person would believe to be material to a judgment about whether or not to proceed with the transaction." *Id.* § 8.60(4).

Applying the first prong of this test, it appears that the Prime board, except for Cal, was disinterested when it approved the Smart consulting contract. As far as disinterested approval is concerned, the entire Prime board, with Cal abstaining, approved the Smart consulting contract. The facts do not suggest that any of the directors besides Cal had a personal interest in this matter. Nothing indicates that the other directors are subject to Cal's control or serve at his pleasure. Three board members are also senior officers of Prime and therefore arguably dependent on Cal's continued goodwill, but the remaining eight are outside directors with no other connections to the corporation. Accordingly, even if there is some possible doubt as to the independence of the three inside or management directors, there is no doubt as to the independence of the other eight, all of whom voted in favor of the contract. Thus, the disinterested directors approved the transaction and there is no evidence that Cal played any part in the deliberations or vote.

However, applying the second prong of this test, Cal did not make adequate disclosure. Cal informed the Board of his status as a partner in Smart before the Board's approval and therefore disclosed the fact of his conflict. However, he did not inform them that the fee to be charged by Smart was substantially higher than would ordinarily be expected for work like this. This is material information a prudent director would want to know. Therefore, because of the nondisclosure, it is unlikely that the contract with Smart can be defended on the basis of the disinterested directors' approval.

Under the second RMBCA safe harbor, approval by disinterested shareholders would insulate a director's conflicting interest transaction from judicial scrutiny. *See id.* § 8.61(b)(2). No facts support that defense.

Under the third RMBCA safe harbor, a duty of loyalty claim could be rebutted by proof that "the transaction, judged according to the circumstances at the time of commitment, is established to have been fair to the corporation." *Id.* § 8.61(b)(3). Although there is some room to argue this point, the fact that Smart's proposed fee is substantially higher than what it normally charges for comparable work suggests strongly that a finding of objective fairness could not be supported.

Point Three: (35–45%)

Prime’s disinterested directors likely breached their duty of care when they approved, with minimal discussion and without full information, a contract in which a director had an interest.

If the directors do not qualify for the protection of the business judgment rule, they likely will be found to have breached their duty of care in approving the contract with Smart. The business judgment rule creates a presumption that “in making a business decision, the directors . . . acted on an informed basis, in good faith and in the honest belief that the action taken was in the best interests of the company.” *Aronson v. Lewis*, 473 A.2d 805, 812 (Del. 1984).

In this case, there is no evidence of bad faith. At least eight directors were entirely disinterested. Nor is there any evidence that the directors did not have an honest belief that they were acting in the best interests of Prime.

However, a court could find that the directors did not act on an informed basis in reviewing the two alternatives. Because the business judgment rule presumes that the Board was adequately informed, a party claiming that the directors breached their duty of care has the burden of showing that the Board did not have sufficient information to justify going with the higher-priced firm. The fact that Smart was going to charge Prime more than its customary rate suggests that the rate was not justified by added value. Arguably, the \$150,000 price difference required the Board to at least ask more about Smart’s rates. Moreover, if the Board had discussed the contract for more than 10 minutes, it might have realized that it lacked full information.

Therefore, it is likely that a court would find that the Board violated its fiduciary duty of care by approving the contract with Smart.

FEDERAL CIVIL PROCEDURE V.A.; VI.D.

ANALYSIS

- Legal Problems:
- (1) Under Rule 50 of the Federal Rules of Civil Procedure, can a post-judgment motion for judgment as a matter of law be granted if the defendant moved for judgment as a matter of law at the close of the plaintiff's evidence but did not move for judgment as a matter of law at the close of all the evidence?
 - (2) Should a court reject a jury verdict and grant judgment as a matter of law on the basis that the losing party's evidence was more persuasive than the evidence of the party in whose favor the jury ruled?
 - (3) Should a court grant a motion for a new trial if the movant shows that the movant's evidence was more persuasive and more credible than the opponent's evidence?
 - (4) Should a court grant a motion for a new trial on the ground that a juror during voir dire withheld information suggesting that she would be biased against one of the parties in the suit?

DISCUSSION

Summary

In Plaintiff's employment discrimination suit against Corporation, the post-trial motion by Corporation for judgment as a matter of law (JMOL) should be denied. First, Corporation did not move for JMOL at the close of all the evidence as required by Rule 50(b) of the Federal Rules of Civil Procedure. Corporation's motion at the close of Plaintiff's evidence does not satisfy the Rule's requirement. Second, Corporation's arguments in support of the motion do not state grounds sufficient for entering judgment for Corporation as a matter of law.

On the other hand, Corporation's motion for a new trial under Rule 59 of the Federal Rules of Civil Procedure may have merit. Corporation does not face a procedural bar such as that precluding its post-judgment motion for JMOL. Corporation's alternative motion for a new trial should be granted if Corporation can show that the jury's verdict was clearly against the weight of the evidence and a miscarriage of justice, or if a juror failed to reveal information indicating a strong bias against Corporation. It is unlikely that Corporation can show that the verdict is clearly against the weight of the evidence, but Corporation should be able to show juror bias.

Point One: (20–30%)

Because Corporation failed to move for judgment as a matter of law at the close of all the evidence, Rule 50(b) bars it from moving for judgment as a matter of law after trial.

Under Rule 50(b) of the Federal Rules of Civil Procedure, a party may make a motion for judgment as a matter of law (“JMOL”; also called a judgment notwithstanding the verdict or JNOV) if the party makes the motion no later than 10 days after entry of judgment and if the party previously made a motion for JMOL at the close of all the evidence. Here, the defendant made its post-verdict motion in a timely manner, but it did not make an earlier JMOL motion “at the close of all the evidence.” Even though Corporation moved for JMOL at the close of plaintiff’s evidence, it must make the motion again at the close of the record or it loses its right to renew the motion after entry of judgment. Moreover, a post-trial motion for judgment can be granted only on grounds advanced in such a pre-verdict motion. *See, e.g., STEVEN BAICKER-MCKEE, WILLIAM M. JANSSEN & JOHN B. CORR, A STUDENT’S GUIDE TO THE FEDERAL RULES OF CIVIL PROCEDURE 800 (10th ed. 2007).*

The federal courts are divided on how strictly to enforce Rule 50(b) when a party has moved for judgment at the close of the plaintiff’s case but not at the close of all the evidence. Some circuits have required strict compliance and have held that a motion at the close of plaintiff’s case never is sufficient to support a renewed motion for JMOL. *See, e.g., Mid-America Tablewares, Inc. v. Mogi Trading Co.*, 100 F.3d 1353, 1364 (7th Cir. 1996). Courts in these circuits would deny Corporation’s renewed motion because no JMOL motion was made at the close of all evidence.

Other circuit courts have held that, if a JMOL motion was made at the close of plaintiff’s case, the failure to again move at the close of all the evidence need not be fatal to a post-verdict motion if the evidence introduced by the defendant was brief and could not have possibly changed the court’s decision on the earlier motion. *See, e.g., BE & K Constr. Co. v. United Bhd. of Carpenters & Joiners*, 90 F.3d 1318, 1325 (8th Cir. 1996). *See generally* 11 CHARLES ALAN WRIGHT & ARTHUR R. MILLER, *FEDERAL PRACTICE AND PROCEDURE* § 2537 n. 10 (3d ed. 2007). This exception would not help Corporation here, however, because the witness testimony it presented in defense was substantial and could well have changed the trial court’s view on the merits of the motion if Corporation had made that motion at the close of all evidence after presenting its own case.

Thus, Corporation is now precluded from renewing its JMOL motion.

Point Two: (20–30%)

Even if Corporation had preserved its right to file (or “renew”) the motion for JMOL after the verdict, the motion should still be denied because Corporation has not advanced arguments that justify granting such a motion.

A motion for JMOL at the close of all the evidence, or a renewed motion after the return of the verdict, can be granted only if “there is no legally sufficient evidentiary basis for a reasonable jury” to find for the party opposing the movant. FED. R. CIV. P. 50(a). In ruling on such a motion, the trial judge is not authorized to weigh the evidence, pass on credibility of witnesses, or otherwise substitute the judge’s view of the evidence for the jury’s view. The standard expressed in Rule 50(a) makes clear that the grant of a motion for JMOL is “a performance of the court’s duty to assure enforcement of the controlling law and is not an intrusion on any responsibility for factual determinations conferred on the jury by the Seventh Amendment.” FED. R. CIV. P. 50

advisory committee's notes to 1991 Amendment. This standard is also used as a reference point for entry of summary judgment under Rule 56. *See Anderson v. Liberty Lobby*, 477 U.S. 242, 250–51 (1986).

Thus, Corporation's argument that its evidence was more persuasive and more credible than Plaintiff's evidence does not provide the court with a basis for overturning the jury's verdict. Even if true, the superior strength of Corporation's evidence does not mean that the jury acted unreasonably by returning a verdict for Plaintiff. Similarly, even if the trial judge agrees with Corporation that its witnesses were more credible than the witnesses for Plaintiff, that fact still would be insufficient to support a motion for JMOL. Assessments of witness credibility are core jury functions, and Rule 50 does not give the judge license to usurp that core function.

The verdict may be overturned only if, on the basis of the evidence, no reasonable jury could have found that Plaintiff had met her burden of proof. *See WRIGHT & MILLER, supra*, § 2524. Here the jury had an objective, reasonable basis for accepting Plaintiff's version of the facts: the suspicious timing of Plaintiff's firing and the testimony by a witness to the discriminatory statements by Plaintiff's supervisor. Even if the trial court thinks the jury erred, the trial court should defer to the jury's choice between competing versions of events when the jury choice is reasonably based on the evidence presented in the case. *Tennant v. Peoria & Pekin Union Rwy. Co.*, 321 U.S. 29, 35 (1944).

Point Three: (20–30%)

Corporation's alternative motion for a new trial should be granted if the court is convinced that the jury's verdict was clearly against the weight of the evidence and a miscarriage of justice, but such a result is unlikely here.

Corporation's motion for new trial was filed within 10 days of the entry of judgment, as required by Rule 59(b). Unlike motions for JMOL under Rule 50, no pre-verdict motions are required in order to make the post-verdict motion for new trial. Thus, Corporation's alternative motion for new trial is procedurally proper and can be considered on the merits.

Rule 59 does not specify any standard for the granting of a new trial, but instead provides that such motions can be granted "for any of the reasons for which new trials have heretofore been granted in actions at law in courts of the United States." In effect, Rule 59 gives the trial judge power and discretion to prevent a miscarriage of justice. Because an order for a new trial is not a final judgment, such motions are more freely granted than are motions for JMOL. In general, the grounds for a new trial are that the verdict is against the weight of the evidence, that the damages are excessive, or that for other reasons—such as errors of law—the trial was not fair. *See WRIGHT & MILLER, supra*, §§ 2805, 2806. Where the court is convinced that a mistake has been made, such as where the prevailing party's witnesses were wholly lacking in credibility, a new trial may be ordered. On a motion for new trial, unlike a motion for JMOL, the court is not required to view the evidence in the light most favorable to the verdict winner. *Id.* § 2806.

In this case, the first ground offered in support of the motion is Corporation's argument that its evidence was more persuasive and more credible than Plaintiff's evidence. Because the court is

free to weigh the evidence itself on a motion for new trial, this argument may prevail. Courts have held that an order for a new trial is appropriate when the trial judge is convinced that the jury has reached a seriously erroneous result.

However, the trial judge must respect the collective wisdom of the jury. *See id.* It is not proper for a court to grant a new trial on the ground that the verdict is against the weight of the evidence unless the record shows that the jury's verdict resulted in a miscarriage of justice. *See, e.g., Tennant*, 321 U.S. at 35; *United States v. Landau*, 155 F.3d 93, 104–05 (2nd Cir. 1998). “[S]ince the credibility of witnesses is peculiarly for the jury, it is an invasion of the jury’s province to grant a new trial merely because the evidence was sharply in conflict.” *Latino v. Kaizer*, 58 F.3d 310, 315 (7th Cir. 1995). The issue here is simple and the facts were highly disputed at trial. Notwithstanding the fact that the court may believe that Corporation’s evidence was “more persuasive,” it would be improper for the court to grant Corporation’s motion for a new trial on this basis.

Point Four: (20–30%)

Corporation’s motion for a new trial should be granted if a juror improperly failed to reveal information that would bias that juror against Corporation.

Corporation’s second argument in support of a grant of new trial is stronger. By showing that a juror improperly failed to disclose information that would bias the juror against Corporation, Corporation has identified an error that could have influenced the verdict. Through questions during voir dire, jurors are screened for potential bias. Although motions for a new trial based on juror nondisclosures during voir dire are often unsuccessful, if the withheld information would have justified a disqualification for cause, a new trial should be granted. *See* WRIGHT & MILLER, *supra*, § 2810; *McCoy v. Goldston*, 652 F.2d 654, 659 (6th Cir. 1981). Here, had Corporation known of the juror’s prior experience with employment discrimination suits and her hostility toward companies that are accused of discrimination, Corporation surely would have moved that the potential juror be struck for cause.

Of course, the fact that a juror has potential biases is not enough to warrant striking the juror from the jury for cause. The question is whether those potential biases are also actual biases. *See Smith v. Phillips*, 455 U.S. 209, 216 (1982). Here, there is evidence that the jury foreperson had actual bias and manifested that bias even before the trial began.

Under these circumstances, the trial court could find that the jury foreperson’s apparent bias against Corporation fundamentally undermined the fairness of the trial. If the court so concludes, it should grant Corporation’s motion for a new trial.

SECURED TRANSACTIONS I.B.; II.A., C., D., E., F.; III.B.; IV.A., B.

ANALYSIS

- Legal Problems:
- (1) As between the bank in which a deposit account is maintained and a bank that has filed a financing statement covering the account, whose security interest in the account has priority?
 - (2)(a) Is a financing statement effective to perfect a security interest when the financing statement does not give the debtor's correct name, but a search under the correct name would reveal the financing statement?
 - (2)(b) Does a perfected security interest have priority over a judicial lien that has attached to collateral?

DISCUSSION

Summary

A security interest in a deposit account is perfected only if the secured party has control of the account. First Bank did not have control of the deposit account; State Bank did. Thus, State Bank's interest is the only perfected interest, and State Bank's claim is superior to First Bank's claim.

First Bank's interest in Dart Corporation's office equipment was perfected even though its financing statement gave an incorrect name for Dart Corporation (DC). Because a search of the filing office records using DC's correct name would disclose the financing statement, it is effective to perfect First Bank's interest. Because First Bank is a perfected secured party, its interest prevails over the interest of State Bank, a judgment creditor whose lien attached after First Bank had perfected its interest.

Point One: (45–55%)

First Bank did not have control of DC's deposit account at State Bank. As a result, First Bank's interest is unperfected and is subordinate to State Bank's perfected interest, even though First Bank filed a financing statement and State Bank did not.

DC's checking account at State Bank is a "deposit account" for Article 9 purposes. The facts state that the account is a demand account, and demand accounts are Article 9 "deposit accounts." See UCC § 9-102(a)(29) (definition of "deposit account"). Both State Bank and First Bank have enforceable security interests in the account because the following criteria are fulfilled: (1) DC's president signed a security agreement granting each bank an interest in the account, (2) DC has rights in the account, and (3) each bank extended value to DC by giving DC a loan. UCC § 9-203.

Although First Bank filed a financing statement covering the deposit account, First Bank's interest is not perfected. Under UCC § 9-312, "a security interest in a deposit account may be perfected only by control." Under UCC § 9-104, a creditor only has control of a deposit account if: (1) "the secured party is the bank with which the deposit account is maintained" (the bank account is at State Bank, not First Bank), (2) the bank where the account is held has agreed in writing to follow the instructions of the secured party (no such agreement exists), or (3) the secured party becomes the bank's customer with respect to the account (which was not done). Because none of the UCC § 9-104 requirements for control has been met by First Bank, First Bank's security interest in the bank account is unperfected.

State Bank, on the other hand, does have a perfected security interest in the deposit account, even though it did not file a financing statement, because State Bank is "the bank with which the deposit account is maintained," and therefore has control of the account. As between an unperfected secured creditor (First Bank) and a perfected secured creditor (State Bank), the perfected secured creditor has the superior claim to the collateral. *See* UCC § 9-322(a)(2).

Point Two(a): (20–30%)

First Bank's security interest in DC's office equipment is perfected despite the error in DC's name on the financing statement.

First Bank filed a financing statement covering DC's office equipment. For a financing statement to be effective under UCC § 9-502, it must contain three pieces of information: (1) the name of the debtor, (2) the name of the secured party, and (3) an indication of the collateral. In the case of First Bank's financing statement, the name of the secured party is correct and the collateral is sufficiently indicated as "office equipment." (DC's office equipment would be categorized as "equipment" under Article 9. *See* 9-102(a)(33).) The name of the debtor, however, contains an error. The issue is whether this error renders the financing statement ineffective.

Under UCC § 9-506(a), minor errors do not render a financing statement ineffective, unless those errors make the financing statement "seriously misleading." However, a corporation is a registered organization, and under § 9-503(a)(1), a financing statement sufficiently states the name of a "registered organization" only if the financing statement provides the name of the organization that is "indicated on the public record" that "shows the debtor to have been organized." Here, the financing statement should have stated the debtor's name as "Dart Corporation." Moreover, under § 9-506(b), "a financing statement that fails sufficiently to provide the name of the debtor in accordance with Section 9-503(a) is seriously misleading." Thus, First Bank's failure to include DC's correct name on the financing statement raises the possibility that the financing statement will be deemed "seriously misleading" and therefore ineffective.

Luckily for First Bank, however, § 9-506(c) provides a safe harbor that deals with this situation. Even where the debtor's name is incorrect on the financing statement,

"If a search of the records of the filing office under the debtor's correct name, using the filing office's standard search logic, if any, would

disclose a financing statement that [otherwise] fails . . . to provide the name of the debtor . . . the name provided does not make the financing statement seriously misleading.”

The facts state that a search in the State A filing office using DC’s correct name, “Dart Corporation,” will turn up the filed financing statement, even though it incorrectly states the name of the debtor as “Dart Incorporated.” As a result, First Bank’s financing statement is not “seriously misleading” under the relevant Article 9 provisions, and First Bank’s interest is perfected.

Point Two(b): (20–30%)

First Bank’s perfected security interest in the office equipment is superior to State Bank’s judgment lien.

First Bank’s claim to the office equipment is superior to State Bank’s claim. First Bank is a perfected secured creditor, and State Bank is a judgment lien creditor. Under UCC § 9-317, a judgment lien creditor takes priority over a security interest only if the creditor becomes a “lien creditor” before the conflicting security interest is perfected. State Bank became a “lien creditor” when the sheriff levied on January 3. First Bank, however, perfected its security interest in the office equipment by filing on December 1, a month earlier.

CRIMINAL LAW AND PROCEDURE V.A., B., D.

ANALYSIS

- Legal Problems:
- (1) Did the police interview of Student violate Student's Fourth Amendment right to be free from unreasonable seizure such that Student's statements (including the confession) should be suppressed as "fruit of the poisonous tree"?
 - (2) Should Student's statements be suppressed because the police failed to read him his *Miranda* rights when they questioned him in the manager's office?
 - (3) Should Student's confession be suppressed because it was involuntary?

DISCUSSION

Summary

Student was "seized" within the meaning of the Fourth Amendment when he was brought into the manager's office to be questioned by the police. However, that seizure did not violate Student's Fourth Amendment rights because the police had "reasonable articulable suspicion" that Student had been the perpetrator of an armed robbery. This allowed them to detain him for the purposes of investigation and will not taint any statements that Student made during the detention.

Whether the police were required to read Student his *Miranda* warnings depends on whether he was subject to in-custody interrogation. In this case, the only real question is whether Student was in custody. Applying the objective standard, Student was probably not in custody when he spoke with the officers in the manager's office, and *Miranda* warnings were not required.

The last question is whether Student's confession to the officers was voluntary or whether it was the product of police coercion that overcame Student's will. Here a court must look at the totality of the circumstances in ruling on the voluntariness of the confession. Most courts would probably conclude that Student's confession was voluntary.

Point One: (25–35%)

Student was seized by the police within the meaning of the Fourth Amendment, but the seizure was a lawful investigative detention.

Student has a Fourth Amendment right to be free from unreasonable seizure. However, this Fourth Amendment right was violated in this case only if: (a) Student was in fact "seized" by the police when they spoke with him in the manager's office, and (b) that seizure was unreasonable for Fourth Amendment purposes. If the seizure did violate Student's Fourth Amendment rights,

then Student's statements would be suppressible because they were the direct result of that seizure (i.e., "the fruit of the poisonous tree"). *Wong Sun v. United States*, 371 U.S. 471 (1963).

A person has been seized if, in light of all of the circumstances, "a reasonable person would have believed that he was not free to leave." *United States v. Mendenhall*, 446 U.S. 544, 554 (1980). In this case, a court could legitimately find that Student was seized by law enforcement. Student was taken into his manager's office where he remained for approximately 25 minutes with two police officers, one of whom had a visible weapon. One officer sat between Student and the door, and the door was closed. Student was not told that he was free to leave. Under these circumstances, a reasonable person in Student's position would probably have believed that he was required to stay in the room until the police officers gave him permission to leave.

Assuming that there was a seizure, the next question is whether it was a violation of Student's Fourth Amendment rights. Although the police did not have probable cause to arrest Student for the armed robbery, the Fourth Amendment permits detention of an individual for a relatively brief period of time if the police have a "reasonable articulable suspicion" that the individual in question has been recently involved in criminal activity. *Terry v. Ohio*, 392 U.S. 1 (1968).

In this case, three people said that the person on the tape of the convenience store robbery "could be," "might be," and "looked like" Student. These identifications, although far from certain, gave the law enforcement officers sufficient specific facts to form the basis of a reasonable suspicion that Student was the robber. The fact that one of the identifiers was an anonymous caller does not affect the reasonableness of law enforcement's actions since the police officers corroborated the possible identification with Student's principal and Student's homeroom teacher.

Thus, Student's Fourth Amendment rights were not violated, and his statements should not be suppressed.

Point Two: (30–40%)

The police were probably not required to read Student the *Miranda* warnings because he was probably not in custody until they placed him under arrest.

Law enforcement officers are required to read *Miranda* warnings to a suspect when the suspect is subjected to an in-custody interrogation. *Miranda v. Arizona*, 384 U.S. 436, 444 (1966). If the officers were required to read the warnings and failed to do so, the statements should be suppressed.

Student was clearly subject to interrogation, which has been defined not only as questioning initiated by law enforcement but as "any words or actions on the part of the police . . . that the police should know are reasonably likely to elicit an incriminating response" from the suspect. *Rhode Island v. Innis*, 446 U.S. 291, 301 (1980) (quoting *California v. Beheler*, 463 U.S. 1121, 1125 (1983) (*per curiam*)). The only question then is whether Student was "in custody" when he was being questioned.

Custody is a substantial seizure and is defined as either a formal arrest or “restraint on freedom of movement of the degree associated with a formal arrest.” *New York v. Quarles*, 467 U.S. 649, 655 (1984). A suspect need not be in a police station to be in custody. Whether a suspect is in custody is determined by “how a reasonable person in the suspect’s situation would perceive his circumstances.” *Yarborough v. Alvarado*, 541 U.S. 652, 662 (2004). In assessing the question of custody, courts consider the facts surrounding the interrogation. The test to be applied is purely objective. Therefore, a suspect’s age, experience, and other personal characteristics are not considered. *Id.* at 666–67.

In this case, two police officers had Student summoned to the manager’s office, into which they escorted him and closed the door. Student was outnumbered two to one, and one officer, with a visible firearm, sat between Student and the door. The police did not tell Student that he was free to leave. Nonetheless, Student was probably not in custody. The police officers told Student that they would “like to talk” with him; he was not told that he was under arrest until the end of the interview. During the interview, Student was not in any restraints, the two officers were seated in chairs, and the interview took place in an office. While Student may not have felt that he was free to leave, a reasonable person would probably not have believed that he had been arrested or otherwise taken into formal custody. If Student was not in custody, then the police were not required to read him *Miranda* warnings before talking with him. Therefore, there should be no suppression for a *Miranda* violation.

Point Three: (25–35%)

Based on the totality of the circumstances, Student’s confession was probably voluntary.

The voluntariness of a confession is based on (1) whether the police subjected the suspect to coercive conduct, *see Colorado v. Connelly*, 479 U.S. 157, 167 (1986), and (2) whether the conduct was sufficient to overcome the will of the suspect, *see Rogers v. Richmond*, 365 U.S. 534, 543–44 (1961).

There is certainly some evidence of coercion. Here, the police interviewed Student in a small, closed room, two against one, with a firearm displayed. The police did not tell Student that he was free to go if he chose, did not tell him that he was not obliged to answer their questions, and did not advise him of his *Miranda* rights. The police also lied to Student about the strength of their case. By itself, the lie would not be a ground for suppression. Trickery and deceit do not render a confession inadmissible. *United States v. Kontny*, 238 F.3d 815, 817 (7th Cir. 2001). “Far from making the police a fiduciary of the suspect, the law permits the police to pressure and cajole, conceal material facts and actively mislead.” *United States v. Rutledge*, 900 F.2d 1127, 1131 (7th Cir. 1990). But in conjunction with the other factors, this deception pushes this case closer to the line of coercion.

The more difficult question is whether this coercive conduct was sufficient to overcome the will of the suspect. Here, courts consider the totality of the circumstances and take into account both the conduct of the police and the suspect’s individual characteristics such as age, level of education, and familiarity with the criminal justice system. *Alvarado*, 541 U.S. at 667–68; *Schneckloth v. Bustamonte*, 412 U.S. 218, 226 (1973).

A court could conclude that the police behavior was insufficiently coercive to have overcome Student's will. The facts indicate that Student is an adult (18 years old) of at least average intelligence and that he has some experience with the juvenile justice system. The interview in his manager's office lasted less than 30 minutes. Although the police statements about the identification were not 100 percent true, the fact that a suspect has been deceived about the strength of evidence does not automatically render a statement involuntary. *Frazier v. Cupp*, 394 U.S. 731, 739 (1969). The statement by the police officers that the prosecutor might be more lenient when a defendant is young and cooperates could be construed as an accurate observation of how the justice system operates rather than as a promise of leniency. Similarly, the police officers' general description of prison as "not being a nice place" was not a threat but simply a statement of fact.

On the other hand, a court that focuses on Student's youth and inexperience might consider the confession to have been involuntary. Student is a high school senior with minimal experience with the criminal justice system. He was questioned in his manager's office by two police officers. His confession was in direct response to police conduct that could be considered "overreaching." First, the police deliberately lied about the strength of the evidence against him. When it appeared that Student was reacting to that tactic, the police upped the ante by telling him that a confession might result in leniency. Finally, the police officers made what could be taken as a veiled threat about what would happen to Student in prison if he did not confess.

TRUSTS I.I.1, 2, 3.

ANALYSIS

- Legal Problems:
- (1) Did Friend breach the duty of loyalty by investing trust assets in a closely held corporation in which he had a substantial financial interest?
 - (2) Did Friend breach the duty to invest prudently by investing 90% of trust assets in the illiquid stock of two closely held corporations?
 - (3) Did Friend breach the duty to diversify by investing 90% of trust assets in two corporations with virtually identical businesses?
 - (4) Did Friend breach the duty of care by making investments that produced no current income and made it impossible for James to exercise his 5% withdrawal power?

DISCUSSION

Summary

Friend breached the duty of loyalty, the duty to invest prudently, the duty to diversify the trust investments, and the duty of care when he invested 90% of the trust's assets in the preferred stock of two closely held corporations. Friend breached the duty of loyalty because he had a substantial financial interest in one of the closely held corporations. He breached the duty to invest prudently and the duty to diversify because the investments significantly diminished the liquidity of the trust principal and because A Corp. and B Corp. were involved in similar high-risk businesses. He breached the duty of care by investing in a manner that precluded carrying out the trust's obligations to James with respect to the payment of income and James's annual 5% withdrawal power.

Point One: (15–25%)

Friend breached the duty of loyalty by investing the trust assets in a corporation in which Friend, in his individual capacity, had a substantial investment.

A trustee owes trust beneficiaries a duty of loyalty and must administer the trust exclusively in the beneficiaries' interests. Because the trustee must act on behalf of the beneficiaries, and not on behalf of himself, the duty of loyalty is breached when a trustee enters into transactions, on behalf of the trust, that involve a conflict of interest or self-dealing. Friend entered into a transaction involving a conflict of interest.

Uniform Trust Code § 802(c) provides that an investment in “a corporation . . . in which the trustee . . . has an interest that might affect the trustee's best judgment” is presumptively a breach of the duty of loyalty. Here, Friend invested in A Corp., in which he held 70% of the common

stock. Although the comments to § 802 note that the presumption of a breach can be rebutted by showing that the terms of the transaction were fair or that the transaction would have been made by an independent party, there is no evidence to support such a showing in this case. It is also hard to imagine that an independent trustee would have made such a risky and illiquid investment.

Point Two: (25–35%)

Friend breached the duty to invest prudently by investing the trust assets in the illiquid stocks of cash-poor, closely held corporations without proven, marketable products.

Almost all states have adopted, in one form or another, the Uniform Prudent Investor Act. Under this act, a trustee owes trust beneficiaries a duty to invest trust assets prudently. UNIF. PRUDENT INV. ACT § 1. In assessing whether a trustee has breached this duty, the Act requires consideration of a number of factors, including (1) the distribution requirements of the trust (*id.* § 2(a)), (2) general economic conditions (*id.* § 2(c)(1)), (3) the role the investment plays in relationship to the trust's overall investment portfolio (*id.* § 2(c)(4)), and (4) the trust's need for liquidity, regularity of income, and preservation or appreciation of capital (*id.* § 2(c)(7)). All of these factors support a finding that Friend's investment was imprudent.

The investments in A Corp. and B Corp. represented a very large share (90%) of the trust assets and dominated the portfolio. The investments drastically reduced the liquidity of the trust, making it impossible to meet the trust's distribution requirements. The investments also reduced the trust's annual income, resulting in a reduction in mandatory income distributions. The effects of the investments on the trust income and liquidity were not unexpected, but were known at the outset. Moreover, the technologies that both companies planned to develop were unproven; working prototypes had not been developed, and there was no evidence that such inventions would succeed in the highly competitive cell-phone market. (*See* Point Four.) Lastly, since the companies were developing competing technologies, there is a good chance that ultimately one of them would fail (e.g., Blu-ray vs. HD DVD).

Point Three: (15–25%)

Friend breached the duty to diversify by investing 90% of the trust's assets in two corporations that were involved in the same type of business and subject to the same market risks.

A trustee owes a duty to diversify trust investments unless he “reasonably determines that, because of special circumstances, the purposes of the trust are better served without diversifying.” UNIF. PRUDENT INV. ACT § 3.

The diversification duty rests on the assumption that it is risky to place all or substantially all of one's assets in the same investment basket. Although there is “no automatic rule for identifying how much diversification is enough,” (*id.* § 3 cmt.), it seems highly unlikely that any fact finder would find the investment of 90% of trust assets in one narrow and unproven market sector sufficiently diverse.

Additionally, there are no facts in this case to support a finding that a lack of diversification was warranted because of special circumstances. Settlor funded the trust with publicly traded securities. The terms of the trust contemplated investments that would produce income and distributable principal.

Point Four: (15–25%)

Friend breached the duty of care by investing the trust assets in a manner that precluded administration of the trust in accordance with its terms and purposes.

Under the common law, a trustee owes beneficiaries the duty to act with care, skill, and prudence. *See generally* GEORGE T. BOGERT, TRUSTS § 93 (6th ed. 1987). Although the Uniform Trust Code does not impose on trustees a duty of care, it does impose a duty to “administer the trust in good faith, in accordance with its terms and purposes and the interests of the beneficiaries” UNIF. TRUST CODE § 801.

Whichever formulation is used, Friend breached his duty by making investments that made it impossible to carry out the terms of the trust. The facts clearly evidence Settlor’s intention to provide James with an annual income and imply that this income may have been intended to supplant the support Settlor provided James before creating the trust. The facts also clearly show that Settlor gave James the power to annually withdraw up to 5% of trust principal over the first 10 years of the trust. The investments in A Corp. and B Corp. effectively prevented James from exercising his withdrawal power and dramatically curtailed his income from the trust.

July 2008
Questions

MEE Question 1

Debtor sells and delivers medical supplies to hospitals. It owns a fleet of 40 trucks that it uses to make deliveries. Debtor has a state-issued certificate of title for each truck. The state has a statute that provides: “All security interests in a motor vehicle must be noted on the vehicle’s certificate of title as a condition for perfection.”

On June 1, Bank made a \$100,000 loan to Debtor. In order to secure the loan, Debtor signed a valid security agreement granting Bank a security interest in “all Debtor’s inventory and equipment, whether now owned or hereafter acquired.” Bank did not note its security interest on the certificates of title issued for the trucks. However, Bank immediately filed an appropriate financing statement in the proper state office that listed its collateral as “all Debtor’s inventory and equipment, whether now owned or hereafter acquired.”

On July 1, Finance Company loaned \$75,000 to Debtor. On that same day, Debtor signed a valid security agreement granting Finance Company a security interest in 25 of Debtor’s “delivery trucks” and “any accessories now or hereafter installed.” Each truck was identified individually and by its vehicle identification number. Although Finance Company never filed a financing statement, its security interest was noted on the certificate of title for each truck.

On August 1, Debtor entered into a contract with Global Inc. to buy 40 global positioning system units (GPS units) to be installed on all 40 delivery trucks (including the 25 trucks covered by Finance Company’s security agreement). GPS units are bolted on the dashboard of a vehicle and hooked up directly to the battery for power, but they otherwise operate independently of the vehicle.

The GPS units cost \$50,000. Debtor made a down payment of \$10,000 and signed an agreement to pay the remaining \$40,000, plus interest, in equal monthly installments over a two-year period. To secure the amount owed on the contract, Debtor signed a security agreement giving Global a security interest in “the GPS units to be installed on Debtor’s delivery trucks.”

On August 2, Global properly filed a financing statement covering the GPS units. The GPS units were delivered to Debtor on August 10, and Debtor installed them on its delivery trucks shortly thereafter.

On October 1, Debtor defaulted on its obligations to Bank, Finance Company, and Global. Bank has repossessed all 40 of Debtor’s trucks, and it is now negotiating with Finance Company and Global about their respective claims to the trucks and the 40 GPS units installed in them.

1. Which of Bank or Finance Company has the superior claim to the 25 delivery trucks claimed by Finance Company? Explain.
2. Which of Global or Finance Company has the superior claim to the GPS units installed in the 25 delivery trucks claimed by Finance Company? Explain.
3. Which of Bank or Global has the superior claim to the remaining 15 GPS units? Explain.

MEE Question 2

Lex, a nationally prominent criminal defense attorney, has a weekly television show on LNN, a national cable television station devoted to legal news. Lex's show deals with a variety of legal topics. Lex often uses his show as a platform to argue that adultery should be criminalized. Lex and his wife are both 60 years old.

Scoop is a reporter for *News*, a nationally distributed newspaper. Scoop received an accurate tip that Lex was engaging in an adulterous affair at a hotel in State X. Scoop then broke into the hotel through a back door, an act constituting trespass under generally applicable tort law, and attempted to get into Lex's hotel room. Before he could get into the room, however, he was discovered by a hotel employee and escorted out of the hotel. Later that day, while waiting on a public street outside the hotel, Scoop saw Lex get into a car with a young woman who was clearly not Lex's wife. Scoop took a photograph of Lex and the young woman, who were kissing passionately. Scoop mistakenly thought the woman was Star, a world-famous actress.

Scoop hurried back to the newspaper and wrote a news story that was published with the photograph in *News* the next day. The story stated that Lex was having an affair with Star and that Lex's adultery was contrary to the beliefs he advocated on his television show. By coincidence, the next page of the same edition of *News* featured a separate story about the premiere of Star's new movie, correctly stating that Star had been in State Y for the entirety of the previous day. Scoop honestly believed that the woman in the photograph was Star, even though most people would have been able to tell from the photograph that this was not the case.

Would the First Amendment preclude liability if:

- 1) Star sued *News* for libel on the ground that the news story falsely stated that she was having an affair with Lex? Explain.
- 2) the hotel sued Scoop for trespass? Explain.
- 3) Lex sued *News* for invasion of privacy, claiming that the publication of the news story and photograph disclosed the truthful but highly offensive fact that he had engaged in an extramarital affair? Explain.

MEE Question 3

Fifteen years ago, Amy, Beck, and Curt formed a partnership, “Amy, Beck, and Curt Co.,” to engage in a retail shoe store business. The partnership is for a 25-year term. All real estate owned by the partnership is titled to “Amy, Beck, and Curt Co., a partnership.”

While the partnership has done well, the three partners have not managed their respective personal finances successfully. In order to deal with personal financial problems, Amy borrowed \$25,000 from Green, Beck borrowed \$50,000 from Red, and Curt borrowed \$75,000 from White. The three partners each have defaulted on their respective loans.

Green, Red, and White are pursuing various avenues to recover what is owed to each of them.

Green has obtained a judgment against Amy, who is judgment-proof, and is considering attaching the partnership real estate.

Red has taken no legal action against Beck but wants to collect the amount of his loan to Beck from Beck’s interest in the partnership.

Curt has assigned all of his interest in the partnership to White. After the assignment, White asked to inspect the partnership books and records and demanded the right to participate in the management and affairs of the partnership. White is also considering the possibility of collecting Curt’s debt by forcing a dissolution and winding up of the partnership.

1. Can Green, as a judgment creditor of Amy, attach and execute upon the partnership real estate? Explain.
2. What steps should Red take to collect the amount of his loan to Beck from Beck’s interest in the partnership? Explain.
3. Does White have a right to inspect partnership books and records and to participate in the management of the partnership? Explain.
4. Can White force a dissolution and winding up of the partnership? Explain.

MEE Question 4

Two years ago, Landlord and Tenant entered into a five-year oral lease of an office at \$800 per month, payable on the first day of each month. The lease was silent regarding Tenant's right to assign or sublet the office.

Three weeks ago, Tenant called Landlord, gave two weeks' notice of lease termination, and said that she planned to move out of state permanently.

Tenant told Landlord that Friend had agreed to take over the office space for the balance of the five-year lease. Landlord said that he would not accept Friend as a new tenant even though she was financially capable of paying the rent and that he would hold Tenant to the lease agreement for the balance of the five-year term.

Two weeks ago, Tenant vacated the office.

One week ago, on the day the next month's rent payment was due, Friend sent Landlord a check for \$800, which Landlord refuses to cash. Landlord insists that Tenant is liable for the \$800 rent. Tenant has not paid the \$800 monthly rent. Landlord has sued Tenant to recover the \$800 rent that she has not paid.

1. What type of tenancy did the oral lease agreement between Landlord and Tenant create? Explain.
2. Did Tenant properly terminate the tenancy? Explain.
3. Is Landlord entitled to collect \$800 from Tenant? Explain.

MEE Question 5

Guest, a citizen of State A, ate oysters at Ron's Restaurant in State B. Guest paid for the meal with a \$50 check. Ron's Restaurant is owned and operated by Ron, a citizen of State B.

After eating the oysters at Ron's Restaurant, Guest ate an ice cream sundae at the ice cream shop next door, which is owned and operated by CreamCorp, a State B corporation with its principal place of business in State B.

An hour later, Guest became ill and went to a hospital emergency room. Guest had to be admitted to the hospital for several days of tests, treatment, and observation. Ultimately, the doctors concluded that Guest was suffering from a severe case of food poisoning. Guest's hospital bills exceeded \$75,000.

Guest stopped payment on the \$50 check to Ron's Restaurant before the check cleared and has not otherwise paid for the meal.

Guest sued Ron (doing business as Ron's Restaurant) in the federal district court for the District of State B. Guest's complaint alleged that the oysters she ate at Ron's Restaurant caused her food poisoning. Guest further alleged that her damages exceed \$75,000, exclusive of costs and interest.

Ron doubts that the oysters were contaminated because no other patrons suffered an adverse reaction to the oysters served that day. Ron believes that Guest became ill because the ice cream served at CreamCorp's shop was made with unpasteurized milk. Thus, Ron has moved to compel the joinder of CreamCorp as an additional defendant in the lawsuit so that, if the jury concludes Guest became sick from the ice cream, it can render a verdict against CreamCorp and not Ron. Ron has also added to his answer a claim against Guest for the unpaid \$50.

Guest objects to the joinder of CreamCorp. Guest has also moved to strike Ron's claim for the unpaid \$50 from Ron's answer.

1. Should the court order the joinder of CreamCorp as an additional defendant? Explain.
2. Do the Federal Rules of Civil Procedure permit Ron to join his claim against Guest for the unpaid \$50 to Guest's lawsuit against Ron? Explain.
3. If the Federal Rules of Civil Procedure permit Ron to join his claim against Guest for the unpaid \$50, will the court have subject matter jurisdiction to hear that claim? Explain.

MEE Question 6

Ten years ago, Wife created a valid trust (Wife's Trust) and named Bank as trustee. The trust instrument directed Bank to: (1) pay all trust income to Wife during her lifetime; (2) upon Wife's death, pay all trust income to Niece during Niece's lifetime; and (3) upon Niece's death, distribute the trust principal to Niece's "then living issue."

Article Five of Wife's Trust provided as follows:

Wife may revoke or amend this trust at any time prior to her death by a written instrument delivered to Bank.

Contemporaneously with the creation of Wife's Trust, Wife and her husband, Husband, executed separate wills. Each will devised the respective testator's entire probate estate to Bank "to hold as part of the principal of Wife's Trust, which was created simultaneously with the execution of my will."

Five years ago, Wife delivered to Bank a written instrument titled "Amendment to Wife's Trust." In this instrument, Wife directed Bank to distribute the trust principal to Niece's "children age 21 years or older who are living when Wife's Trust terminates."

Four months ago, Wife, Husband, and Niece were involved in an automobile accident. Wife was pronounced dead in the ambulance. Husband died three days later, and Niece died seven days later. Wife, who had previously transferred all of her assets to Wife's Trust, had no probate estate. Husband's probate estate was worth \$300,000.

Niece had two children: Son, now age 20, and Daughter, who died one year ago at the age of 28. Daughter had one child (Grandchild), now age 4.

1. Does the Amendment to Wife's Trust apply to the assets distributable to that trust from Husband's probate estate? Explain.
2. Is Son entitled to a share of the assets of Wife's Trust given the language of the Amendment to Wife's Trust? Explain.
3. Is Grandchild entitled to a share of the assets of Wife's Trust given the language of the Amendment to Wife's Trust? Explain.

MEE Question 7

Six years ago, Hal and Wendy were married in State A. Both of them had been previously divorced. Hal, age 40, was a successful businessman earning \$200,000 per year. Wendy, age 30, was a struggling songwriter earning \$20,000 per year.

Two weeks before their wedding, Hal told Wendy that his lawyer (Lawyer) had advised him not to marry Wendy unless she signed a premarital agreement. Hal gave Wendy a copy of the agreement Lawyer had proposed and suggested that she review it with Lawyer or another attorney of her own choosing. The agreement specified that in the event of divorce:

1. Each spouse waives all claims to property acquired by the other during the first five years of the marriage;
2. The spouses will share joint physical and legal custody of any children born to them during the marriage.

When Hal gave Wendy the proposed agreement, she burst into tears. Wendy was very angry and hurt, but she did not want to call off the wedding at such a late date. Reluctantly, she agreed to discuss the matter with Lawyer.

Lawyer gave Wendy an accurate list of Hal's assets and a copy of Hal's tax returns for the past three years. Lawyer urged her to consult another attorney. After conferring with her family, but not an attorney, Wendy decided to sign the proposed agreement. The day before their wedding, she and Hal signed the agreement in Lawyer's office in State A.

Four years ago, Hal and Wendy had a child (Child).

Six months ago, Hal and Wendy moved to State B. Hal's business has continued to prosper. He currently earns \$300,000 per year. Since the marriage, Hal has used his business income to acquire assets worth about \$500,000. Wendy has continued to write songs. Her current income is \$30,000 per year.

Three months ago, after Wendy discovered that Hal was having an affair, she took Child and moved back to State A, where she plans to remain. Since leaving Hal, Wendy has written and recorded several songs about her marriage. Wendy's agent believes that these songs "will hit the top of the charts."

State A has adopted the Uniform Premarital Agreement Act. State B has not. The premarital agreement contains no choice-of-law provision.

1. Which state's law governs the enforceability of the premarital agreement? Explain.
2. Is the waiver-of-property-rights provision in the premarital agreement enforceable? Explain.
3. Is the child-custody provision in the premarital agreement enforceable? Explain.

4. Are the profits to be derived from Wendy's songs written after she left Hal subject to division at divorce? Explain.

MEE Question 8

Rancher conducts cattle roping clinics in various locations around the country. Rancher thought it would be more profitable to buy his own land and conduct the clinics there.

In March, Rancher bought the Bar-X Ranch (Ranch) with a large pasture on which Rancher could hold the roping clinics.

In April, before Rancher had offered any roping clinics on the property, Rancher agreed to allow Gasco, an oil and natural gas company, to explore for gas reserves on Ranch. Before the parties signed a contract, Gasco executives drove around Ranch, and Rancher pointed out to them the pasture where he planned to hold his roping clinics. Rancher told the Gasco executives, "I can't wait to start holding my clinics here so that I won't have to go on the road anymore. Every summer that I travel with my clinics costs me \$50,000. It will cost me only \$10,000 to work from Ranch."

In July, Rancher and Gasco signed a contract in which Gasco agreed to complete its gas exploration and restore Ranch to its pre-exploration condition by March 31 of the following year. Gasco immediately began exploring for gas on Ranch.

By March 31 of the following year, Gasco had completed its exploration but chose not to restore Ranch to its pre-exploration condition. Because of Gasco's failure to restore Ranch, the pasture was not usable, and Rancher had to cancel his plans to conduct roping clinics on Ranch that summer.

Rancher sued Gasco for breach of contract. At trial, an expert for Rancher testified that because of Gasco's failure to promptly restore Ranch to its pre-exploration condition, it would cost \$500,000 and take three years to restore Ranch. Furthermore, during that time Ranch could not be used for roping clinics.

An expert for Gasco testified that Ranch was worth only \$20,000 less in its unrestored condition than if it had been restored to its pre-exploration condition. There was no other expert testimony.

Rancher testified that Ranch could not be used for roping clinics for the next three summers. Rancher estimated that 50 people would have attended the roping clinics each year, and each person would have paid a fee of \$2,000, for a total of \$100,000 per year. Therefore, Rancher seeks \$300,000 for his losses.

The trial court found that there was an enforceable contract between the parties and that Gasco had breached the contract by failing to restore Ranch. The court awarded Rancher \$500,000 for the cost of restoring Ranch to its pre-exploration condition and \$300,000 for his losses.

1. Did the court err in awarding Rancher the cost of restoring Ranch to its pre-exploration condition? Explain.
2. Did the court err in awarding Rancher \$300,000 for damages resulting from Rancher's inability to conduct roping clinics on Ranch for three years? Explain.

MEE Question 9

Two months ago, Finisher, an individual who refinishes antique furniture, entered into a contract with Law Firm to refinish a bookcase for \$3,000.

Two weeks ago, Finisher entered into a contract with Restaurant to refinish a table for \$1,000.

Ten days ago, Finisher hired Administrator to help Finisher manage the business. Finisher put Administrator in charge of opening the mail, recording incoming payments from customers, indorsing checks on behalf of Finisher, and depositing checks to Finisher's account at Bank. Finisher also put Administrator in charge of answering and resolving customer complaints.

Five days ago, Administrator opened Finisher's mail and found two checks.

The first check was from Law Firm and was drawn on Law Firm's account at Bank. The check was payable to the order of Finisher in the amount of \$1,500. The words "Payment in full for bookcase work" appeared in handwriting on the bottom left-hand corner of the face of the check. The Law Firm check was stapled to a letter addressed to Finisher in which Law Firm reminded Finisher that when Finisher's employees were installing the refinished bookcase, one of them ripped a hole in an expensive carpet. Law Firm claims that the damage was \$1,500, while Finisher claims that the damage to the carpet was only \$500.

The second check was from Restaurant and was drawn on Restaurant's account at Bank. It was payable to the order of Finisher in the amount of \$1,000.

The day the checks arrived, Administrator indorsed both checks in the name of Finisher. Administrator deposited the Law Firm check in Finisher's account at Bank. Administrator cashed the Restaurant check at CheckNow, a check cashing business. CheckNow gave Administrator \$1,000 for the check. CheckNow then deposited the Restaurant check in its account at Bank.

The following day, Bank paid the Law Firm and Restaurant checks, and Administrator disappeared.

Two days ago, Finisher discovered that the Restaurant check was cashed by CheckNow and demanded that CheckNow repay the \$1,000 to Finisher.

Yesterday, Finisher discovered the "full satisfaction" letter in Administrator's files. Finisher immediately contacted Law Firm, tendered back \$1,500, the amount of the Law Firm check, and demanded payment of the full amount owed. Law Firm refused to accept the tender and insisted that it was no longer liable for the additional \$1,500 that Finisher claimed was still owed.

1. May Finisher recover the balance of \$1,500 from Law Firm for the refinishing work on the bookcase? Explain.
2. May Finisher recover from CheckNow the amount of the Restaurant check? Explain.

July 2008
Analyses

SECURED TRANSACTIONS II.D., E.; IV.B., F., H.

ANALYSIS

- Legal Problems:
- (1) Does a prior security interest in equipment that is perfected by filing prevail over a later security interest that is perfected by notation on a certificate of title when the equipment in question is vehicles subject to a certificate-of-title statute?
 - (2)(a) Does a security interest in goods continue after the goods are attached to other goods in which someone else has a security interest?
 - (2)(b) Does a properly perfected purchase-money security interest in goods that are accessions to motor vehicles prevail over a prior security interest in the whole vehicle that is perfected by notation on the certificate of title?
 - (3) Does a properly perfected purchase-money security interest in goods that are equipment prevail over a prior perfected security interest in the same equipment?

DISCUSSION

Summary

Bank's filing of a financing statement was ineffective to perfect its interest in Debtor's delivery trucks because the trucks were covered by a certificate-of-title statute. Finance Company's interest is therefore superior to Bank's because Finance Company properly perfected its interest by notation on the trucks' certificates of title.

Global's security interest in the GPS units continued after the units were attached to the trucks, but that interest will be subordinate to Finance Company's interest if Finance Company's security interest in "delivery trucks" is interpreted to include the GPS units installed in the trucks.

Bank's security interest in the GPS units installed in the remaining 15 trucks is a perfected security interest in "equipment." However, its interest is subordinate to Global's perfected purchase-money security interest in the same equipment.

Point One: (30–40%)

Finance Company has a superior claim to the 25 vehicles in which it has a security interest because its interest is perfected and Bank's is not. Where a motor vehicle certificate-of-title statute calls for perfection by notation on the certificate of title, the filing of a financing statement will not perfect an interest in the vehicles.

Debtor's fleet of delivery trucks is "equipment" for purposes of Article 9. *See* UCC § 9-102(a)(33). Bank has a security interest in that equipment. However, the facts tell us that the delivery trucks are subject to a certificate-of-title statute that provides for perfection by notation of a security interest on the certificate of title. Filing a financing statement is "not . . . effective to perfect a security interest in property subject to" such a statute. UCC § 9-311(a)(2). Thus, Bank did not perfect its interest in Debtor's delivery trucks by filing a financing statement.

Finance Company, on the other hand, did perfect its interest in the 25 trucks by complying with the applicable certificate-of-title statute and noting its interest on the certificates of title. *See* UCC § 9-311(b). Thus, Finance Company's perfected security interest in the 25 trucks is superior to Bank's unperfected interest. *See* UCC § 9-322(a)(2).

Point Two(a): (10–20%)

Once the GPS units were attached to Debtor's delivery trucks, they became accessions to those motor vehicles. Nonetheless, Global's interest in the GPS units continues after their attachment to the delivery trucks.

Where, as here, "goods . . . are physically united with other goods in such a manner that the identity of the original goods is not lost," the goods become accessions. UCC § 9-102(a)(1). A security interest in goods that is created and perfected before the goods become accessions continues after the goods become accessions. UCC § 9-335(a) & (b). Thus, Global's perfected security interest in the GPS units continued despite the fact that the units were attached to Debtor's trucks.

When the collateral of one creditor becomes united with the collateral of another, each creditor's collateral is an "accession" to the other creditor's collateral, and the two items of collateral together are regarded as "the whole." *See* UCC § 9-335, cmt. 3. Whether either creditor's security interest applies to "the whole," or applies only to its original collateral, "turns on the description of the collateral in [that creditor's] security agreement." UCC § 9-335, cmt. 5.

In this case, Global's security interest in the GPS units certainly does not cover "the whole" (i.e., delivery trucks with GPS units installed).

On the other hand, Finance Company's described security interest in the specifically identified delivery trucks expressly includes all installed accessories and therefore covers the GPS units.

Point Two(b): (10–20%)

Finance Company's interest in the delivery trucks and installed GPS units is superior to Global's interest in the GPS units.

The priority rules governing accessions are normally the same as the rules for other collateral. *See* UCC § 9-335(c). However, as it does in other places, Article 9 makes an exception when, as here, there is an applicable certificate-of-title statute. UCC § 9-335(d) provides that "[a] security

interest in an accession is subordinate to a security interest in the whole which is perfected by compliance with the requirements of a certificate-of-title statute”

Thus, Global’s security interest in the GPS units installed in the trucks claimed by Finance Company is subordinate to Finance Company’s claim, which was perfected by notation on the trucks’ certificates of title. The policy rationale for preferring Finance Company in these circumstances is to “enable a secured party to rely upon a certificate of title without having to check the UCC files to determine whether any components of the collateral may be encumbered.” UCC § 9-335, cmt. 7.

Point Three: (30–40%)

Global’s purchase-money security interest prevails over Bank’s conflicting security interest in the remaining GPS units.

Bank’s perfected security interest covers inventory and equipment, including after-acquired equipment and inventory. The GPS units are “goods” that are properly classified as equipment because they are not inventory, farm products, or consumer goods. UCC § 9-102(a)(33) (equipment); *see* UCC § 9-102(a)(34) (farm products), (44) (goods) & (48) (inventory). The after-acquired collateral clause in Bank’s security agreement is valid, *see* UCC § 9-204(a), and Bank’s priority dates to the time it filed its financing statement covering equipment, *see* UCC § 9-322(a)(1), even though its interest in the GPS units did not attach or perfect until Debtor acquired rights in the units. Thus, Bank has a perfected security interest in the GPS units.

Global, however, has a purchase-money security interest in the GPS units. A security interest in goods is a purchase-money security interest if the collateral “secures a purchase-money obligation incurred with respect to that collateral.” UCC § 9-103(a)(1) & (b)(1). Global’s interest in the GPS units secures a purchase-money obligation—the \$40,000 debt to Global that Debtor incurred “as all or part of the price of the collateral.” *See* UCC § 9-103(a)(2). Hence, the security interest is a purchase-money security interest. Global promptly filed a financing statement and its interest was perfected as soon as Debtor obtained possession of the GPS units.

A purchase-money security interest in equipment that is perfected when the debtor takes possession of the collateral prevails over a conflicting perfected interest in the same equipment, even if the conflicting interest is earlier in time. UCC § 9-324(a). Thus, although Bank’s priority dates to June 1, its interest is nonetheless subordinate to Global’s later-in-time purchase-money security interest.

CONSTITUTIONAL LAW IV.F.2.a. & g., 3.

ANALYSIS

- Legal Problems:
- (1) To what extent does the First Amendment shield a newspaper from liability in a defamation action for publishing a false statement about a public figure?
 - (2) Does the First Amendment shield a reporter from liability in a civil trespass action for trespassing on private property while investigating a news story on a matter of public concern?
 - (3) Does the First Amendment shield a newspaper from liability in an invasion-of-privacy action based on disclosure of private facts in a newspaper story about a matter of public concern if the reporter did not break the law in obtaining the story?

DISCUSSION

Summary

New York Times v. Sullivan requires plaintiffs who are public figures to prove “actual malice” in order to receive money damages for defamation. If *News* was merely negligent in identifying the unknown woman as Star, Star cannot recover damages. But because of the conflicting stories about Star, *News* may have acted with reckless disregard of the truth and, therefore, with actual malice. The First Amendment does not shield Scoop from liability for trespass under generally applicable tort law; here, because Scoop’s acts constituted trespass under generally applicable tort law, he is liable for damages. Finally, Lex’s action for invasion of privacy should fail. Truthful disclosure of private facts is protected by the First Amendment unless the press did not obtain the information lawfully or the disclosure is not on a matter of public concern. Here, the published facts were on a matter of public concern because Lex is a public figure and his hypocrisy about adultery is newsworthy. Because neither *News* nor Scoop broke the law in obtaining the photograph, *News* is not liable to Lex under the First Amendment.

Point One: (40–50%)

Star cannot successfully sue *News* under a libel theory because the facts do not appear to support a finding that the reporting was done with actual malice.

In *New York Times v. Sullivan*, 376 U.S. 254, 280 (1964), the United States Supreme Court held that public officials seeking to recover damages in a defamation action (libel or slander) must prove that the defendant reporter acted with “actual malice,” defined as “knowledge that [the published defamation] was false” or “reckless disregard of whether it was false or not.” Proof of negligent falsehood is insufficient to permit liability for defamation.

The Supreme Court has extended this standard to public figures who assume “roles of especial prominence in the affairs of society. Some occupy positions of such persuasive power and influence that they are deemed public figures for all purposes. More commonly, those classed as public figures have thrust themselves to the forefront of particular public controversies in order to influence the resolution of the issues involved.” *Gertz v. Robert Welch, Inc.*, 418 U.S. 323, 345 (1974).

Here, Star, a world-famous actress, is undeniably a public figure. She can recover only if she proves that *News* acted with actual malice, i.e., that *News* knew that the woman Scoop photographed was not Star, or that it acted with reckless disregard with regard to that fact. There is no indication that *News* acted with knowledge of falsity; indeed, we are told that Scoop “honestly believed” that Star was Lex’s adulterous partner. But it is a much closer question whether *News* acted with “reckless disregard” for the truth. While logical or factual consistency is not demanded by *New York Times*, the fact that the same edition of *News* reported Star to be in another state shows that *News* very easily could have discovered Scoop’s report to be untrue. The fact that “most people” could have seen that Star was not the woman in Scoop’s photograph also provides some support for recklessness in reporting. These factors probably are inadequate to show that *News* acted with reckless disregard for the facts, but it is a close question.

Point Two: (15–25%)

There is no First Amendment privilege giving the press immunity from liability arising under generally applicable law, even when in pursuit of a news story on a matter of public concern.

The First Amendment does not shield the press from liability arising under generally applicable law not aimed at suppression of free speech. In *Cohen v. Cowles Media Co.*, 501 U.S. 663 (1991), the United States Supreme Court stated that “generally applicable laws do not offend the First Amendment simply because their enforcement against the press has incidental effects on its ability to gather and report the news. . . . [E]nforcement of such general laws against the press is not subject to stricter scrutiny than would be applied to enforcement against other persons or organizations.” *Id.* at 669–70.

Here, Scoop’s actions in breaking into the hotel constituted trespass under generally applicable law that does not single out the press for special treatment. Scoop, like any other member of the public, is subject to tort law that applies to all members of society, even when he is engaged in the journalistic activities of gathering and reporting the news. Thus, the First Amendment is no shield to liability for him, and the hotel can collect damages for his trespass.

Point Three: (30–40%)

News is probably immune from liability for invading Lex’s privacy because the published information was lawfully obtained and involves a matter of public concern.

In a series of cases, the United States Supreme Court has held that where a media defendant has lawfully obtained a private fact, such as the identity of a rape victim, the First Amendment shields the media from liability as long as the news story involves a matter of public concern. See, e.g., *Cox Broadcasting v. Cohn*, 420 U.S. 469 (1975); *Florida Star v. B.J.F.*, 491 U.S. 524

(1989); *Bartnicki v. Vopper Corp.*, 532 U.S. 514 (2001). In some jurisdictions, the First Amendment protection is incorporated directly into the tort rule, and the disclosure of private facts is not tortious if the facts are “of legitimate concern to the public.” RESTATEMENT (SECOND) OF TORTS § 652D.

In this case, the First Amendment would shield *News* from liability. First, neither *News* nor its employee Scoop acted unlawfully in procuring the picture. Scoop took the photograph from a public vantage point and was not breaking the law in doing so. Indeed, publication of the picture was not really publication of a “private” fact at all. Lex was kissing the young woman on a public street. Although he was in a private car, passersby (e.g., Scoop) apparently could observe the kiss. A court might well conclude that Lex had no reasonable expectation of privacy under the circumstances.

Moreover, the news story about Lex’s adultery addresses a matter of public concern. Lex is undeniably a public figure under the *Gertz* test, *see* Point One, as he is a nationally famous lawyer and television personality. In addition, given the strong position he has taken publicly opposing marital infidelity, evidence that his personal actions belie his public arguments is relevant to the public debate that Lex has voluntarily thrust himself into. Accordingly, because the photograph was newsworthy and lawfully obtained, *News* cannot be held liable for invasion of privacy.

AGENCY AND PARTNERSHIP VI., VII., VIII.

ANALYSIS

- Legal Problems:
- (1) Can Green, as a judgment creditor of Amy, attach and execute upon the partnership real estate?
 - (2) What steps should Red take to collect the amount of his loan to Beck from Beck's interest in the partnership?
 - (3) Does White have a right to inspect partnership books and records and to participate in the management of the partnership?
 - (4) Can White force a dissolution and winding up of the partnership?

DISCUSSION

Summary

Green cannot attach and execute upon the partnership property because that property is owned by the partnership and is not subject to attachment and execution by a creditor of an individual partner. To collect the amount of his loan to Beck, Red must first reduce his claim to a judgment and seek a charging order against the partner's financial interest in the partnership. White does not have a right to inspect partnership books and records because non-financial partnership rights, such as the right to inspect partnership books and records, to demand information from other partners, or to participate in the management or affairs of the partnership, cannot be exercised by a creditor of an individual partner, nor can they be assigned by a partner.

White cannot force a dissolution and winding up of the partnership. A transferee of a partner's financial interest in the partnership may only seek dissolution and winding up of the partnership if the partnership is at will or, if the partnership is for a term or a particular undertaking, after the term or undertaking has been completed. Here, the partnership is for a specific term, and that term has not expired.

Point One: (20–30%)

Green, a judgment creditor of Amy, an individual partner, cannot attach and execute upon the partnership real estate.

A judgment creditor of an individual partner may not attach and execute upon partnership real estate to satisfy his claim against that partner.

Under the Uniform Partnership Act (UPA) (1914), partners are tenants in partnership in specific items of partnership property. UPA § 25 (1914). The incidents of this tenancy include an equal right to use the partnership property for partnership purposes. *Id.* § 25(2)(a). However, a

partner's interest in specific items of partnership property is not subject to attachment or execution except upon a claim against the partnership. *Id.* § 25(2)(c).

Under the Uniform Partnership Act (1997), the partnership is a legal entity distinct from its partners. UPA § 201(a) (1997). Partnership property is owned by the partnership and a partner is not a co-owner of such property. *Id.* § 501. Therefore, partnership property is not subject to execution by an individual partner's creditors. *Id.* § 501 cmt.

Thus, Amy has no interest in partnership real estate that could be subject to attachment and execution by a judgment creditor such as Green.

Point Two: (20–30%)

Red should reduce his claim against Beck to a judgment and should then seek a charging order against Beck's financial interest in the partnership.

A creditor of an individual partner who wants to pursue a partner's financial interest in the partnership must first reduce his claim to a judgment. A creditor of an individual partner who has reduced his claim to a judgment may seek a charging order against that partner's financial interest in the partnership. UPA § 28 (1914); UPA § 504 (1997). The partner's financial interest (called the "transferable interest in the partnership" under the 1997 Act) is the partner's share of profits and losses and the right to receive distributions. *See* UPA § 26 (1914); UPA § 502 (1997). This financial interest is the only interest of a partner in the partnership that can be pursued by a creditor of an individual partner.

Thus, Red should reduce his claim against Beck to a judgment and should then seek a charging order against Beck's financial interest in the partnership.

Another way Red might collect from Beck's interest in the partnership is to convince Beck to assign him Beck's interest in the partnership in which case Red would succeed to Beck's financial interest in the partnership. *See* Points Three and Four.

Point Three: (20–30%)

White, an assignee of Curt's partnership interest, has received only Curt's financial interest in the partnership; White has no right to inspect partnership books and records or to participate in the management of the partnership.

Generally a person may become a partner only with the consent of all the partners. UPA § 18(g) (1914); UPA § 401(i) (1997). Thus, a partner does not have the unilateral power to make someone a partner by transferring his or her partnership interest to them.

The assignee of a partnership interest receives only the financial interest of the partner. *See* UPA § 27(1) (1914); UPA § 503(b)(1)–(2) (1997). The 1997 Act refers to this financial interest as the partner's transferable interest in the partnership. UPA § 502 (1997). "Section 502 continues the UPA Section 26 concept that a partner's only transferable interest in the partnership is the

partner's share of profits and losses and right to receive distributions, that is, the partner's financial rights." *See id.* cmt. An assignee does not acquire the right to inspect partnership books and records, or to participate (or interfere) in the management or conduct of the business. UPA § 27(1) (1914); UPA § 503(a)(3) (1997).

In sum, because White is a mere assignee of Curt's partnership interest, White has received only Curt's financial interest in the partnership; White is not a partner and has no right to inspect partnership books and records or to participate in the management of the partnership.

Point Four: (20–30%)

White may not force a dissolution and winding up of the partnership because it is a partnership for a term and the term has not yet been completed.

White is a transferee of Curt's financial interest in the partnership. (*See* Point Three.) A transferee of a partner's financial interest in a partnership may seek dissolution of the partnership if the partnership is a partnership at will or, if a partnership is for a term or a particular undertaking, the term or the undertaking has been completed. UPA § 32(2) (1914); UPA § 503(b)(3) (1997). Under the 1997 Act, the court will dissolve a partnership for a term and order a winding up at the request of a transferee of a partner's financial interest after the expiration of the term and only if it is equitable to do so. *See* UPA § 801(6)(i) & cmt. 9 (1997).

In this case the partnership is a partnership for a term of 25 years, not a partnership at will, and the term has not yet expired. Therefore, a transferee of a partner's financial interest may not seek dissolution and winding up of the partnership. Consequently, White cannot force a dissolution and winding up of the partnership.

REAL PROPERTY I.D.

ANALYSIS

- Legal Problems:
- (1) What type of tenancy did the oral lease between Landlord and Tenant create?
 - (2) Did Tenant properly terminate the tenancy?
 - (3) Is Landlord entitled to collect \$800 from Tenant?

DISCUSSION

Summary

Under the Statute of Frauds, a lease for a term of more than one year (in some states, three years) must be in writing or its electronic equivalent. When a tenant enters into an oral lease that violates the Statute of Frauds and the landlord accepts rent from the tenant, a periodic tenancy ensues if, as here, the tenant has been in possession and paying rent for a substantial period. Either party can terminate a periodic tenancy by giving proper notice. A proper termination notice provides notice for a period at least equal to the payment period specified in the lease agreement. Here, the payment period was one month, and Tenant's two-week notice was thus improper. As a result, Tenant still owes rent to Landlord. However, because the lease did not prohibit an assignment, Tenant's interest was freely assignable; Landlord's consent was not required. Because Tenant properly assigned her lease to Friend, who timely paid the \$800 rent due to Landlord, Landlord cannot recover \$800 from Tenant.

Point One: (35–45%)

The oral five-year lease between Landlord and Tenant violated the Statute of Frauds. Because Tenant took possession two years ago and Landlord accepted monthly rent payments from Tenant throughout that time, a periodic month-to-month tenancy was created.

Most states have enacted a Statute of Frauds that requires leases of more than one year (in some states, three years) to be in writing. A lease subject to the Statute of Frauds is voidable until the tenant takes possession and the landlord accepts rent from the tenant. If the tenant takes possession and the landlord accepts rent, an at-will or periodic tenancy is created because there has been partial performance. *See* 3 GEORGE W. THOMPSON, COMMENTARIES ON THE MODERN LAW OF REAL PROPERTY, § 1021 (1980).

Here, Tenant took possession of the office and Landlord accepted rent. Thus, a periodic or at-will tenancy was created.

An at-will tenancy may be terminated without notice; a periodic tenancy requires notice for a period at least equal to the rent-payment term. Where, as here, rent has been paid for a substantial period of time, the tenancy is generally classified as periodic because payment over

time evidences a commitment to the arrangement and creates expectations that justify notice of termination. Assuming that a periodic tenancy was created, most likely it was a month-to-month tenancy because the lease provided for monthly payments of rent.

Point Two: (15–25%)

A periodic month-to-month tenancy is terminable by notice given at least one month prior to the termination date. Here, the tenancy was not properly terminated because Tenant gave Landlord only two weeks' notice.

A periodic month-to-month tenancy can be terminated by either party with a one-month notice of termination. *See* RESTATEMENT (SECOND) OF PROPERTY § 1.5, cmt. f. At common law, an oral notice was sufficient. Today, many states require written notice of termination. *See, e.g.,* CAL. CIVIL CODE § 1946 (West 1985) (requiring written notice minimum of 30 days before date specified in notice).

Here, Tenant gave Landlord a two-week notice of termination instead of the required one-month notice. Thus the notice to terminate was ineffective to terminate the month-to-month tenancy as of the beginning of the next month even if Tenant's oral notice of termination was acceptable under state law.

Point Three: (35–45%)

Because the lease did not prohibit an assignment, Tenant was free to assign the lease to Friend. Because Friend properly took an assignment of the office lease from Tenant and timely paid the \$800 rent to Landlord, Landlord has no claim against Tenant for unpaid rent.

Where a periodic tenancy arises, the terms of the unwritten lease, except the provision relating to the lease term, are enforceable. *See generally* STOEUCK & WHITMAN, THE LAW OF PROPERTY § 6.15, at 261–62, § 6.17, at 265–66 (3d ed. 2000); RESTATEMENT (SECOND) OF PROPERTY § 2.3(2). In the absence of a contrary provision in a lease, a tenant's interest, like other property interests, is assignable. The assignee of a month-to-month tenant takes a month-to-month tenancy.

When a tenant assigns his interest in a lease, privity of estate arises between the assignee and the landlord. Privity of contract continues to exist between the landlord and the tenant. *See* HERBERT HOVENKAMP & SHELDON KURTZ, PRINCIPLES OF PROPERTY LAW § 9.10 (2005). The tenant is still contractually bound to pay rent, and thus serves as a surety for unpaid rent; if the assignee fails to pay the rent, the tenant is liable to the landlord. *See id.* at 302–03. Here, because the assignee, Friend, paid the rent to Landlord when Friend sent Landlord the \$800 check, no additional rent was due and Tenant is not liable to Landlord for \$800.

FEDERAL CIVIL PROCEDURE I.A.1., IV.C.

ANALYSIS

- Legal Problems:
- (1) Do the Federal Rules of Civil Procedure permit a defendant to compel a plaintiff to join other parties as additional defendants when the original defendant alleges that those other parties are responsible for the plaintiff's injury?
 - (2) Do the Federal Rules of Civil Procedure permit a defendant to join a counterclaim against the plaintiff when the counterclaim is for an unpaid bill relating to the transaction that gave rise to the plaintiff's claim?
 - (3) Does a federal court have jurisdiction over a defendant's state-law counterclaim when that counterclaim is for less than \$75,000 but is related to the plaintiff's original claim?

DISCUSSION

Summary

Ron probably cannot force Guest to join CreamCorp as a defendant because CreamCorp is not a necessary party within the meaning of Rule 19 of the Federal Rules of Civil Procedure. Ron's claim that CreamCorp caused Guest's injury does not provide a sufficient justification for forcing the joinder of CreamCorp over Guest's objection.

The Federal Rules permit Ron to join any counterclaim he may have against Guest, regardless of whether the counterclaim arises out of or relates to Guest's claim against Ron.

A federal court ordinarily would not have jurisdiction over Ron's \$50 state-law claim because it does not satisfy the amount-in-controversy requirement of diversity jurisdiction. Here, however, Ron's counterclaim arose out of the same transaction as Guest's tort claim. Therefore, it is likely that the federal district court will have subject matter jurisdiction to hear the counterclaim under the supplemental jurisdiction statute, 28 U.S.C. § 1367.

Point One: (40–50%)

Rule 19 of the Federal Rules of Civil Procedure does not afford Ron a means to compel Guest to join CreamCorp as an additional defendant because CreamCorp does not qualify as a necessary party.

Ordinarily the plaintiff is the master of her suit and gets to decide whom to sue, with whom to sue, where to sue, and what claims to bring. Thus, if a plaintiff like Guest sues only one defendant when she has claims against two defendants, ordinarily there is nothing that a

defendant, like Ron, can do to compel the plaintiff to join another party. *See* FLEMING JAMES, JR., ET AL., CIVIL PROCEDURE § 10.11 (5th ed. 2001).

But there are some checks on plaintiff autonomy. Rule 19, which governs the joinder of persons needed for just adjudication, authorizes joinder of defendants over the plaintiff's objection only when:

- “the court cannot accord complete relief among existing parties” if the absent person is not joined, or
- the absent person claims an interest in the action that would “as a practical matter” be impaired or impeded if that person is not joined, or
- the person's absence may leave any of the parties subject to a risk of multiple liability or inconsistent obligations.

FED. R. CIV. P. 19(a). Where any of these criteria is met, courts and commentators commonly refer to the absent party as a necessary party, and a court is empowered to join that party, even over the plaintiff's objection. *See generally* JACK H. FRIEDENTHAL ET AL., CIVIL PROCEDURE § 6.5 at 357–59 (4th ed. 2005).

In this case, none of these requirements is satisfied. First, CreamCorp's presence is not necessary for the court to afford complete relief as between Guest and Ron. If Guest got sick because the oysters were contaminated, the court can afford complete relief by holding Ron liable and awarding damages to Guest. If, on the other hand, Guest became sick because the ice cream was made from unpasteurized milk, then the court can afford complete relief between Ron and Guest by refusing to hold Ron liable. Either way, complete and proper relief can be accorded as between Ron and Guest, without CreamCorp's presence. If the jury or court finds that the oysters did not cause the food poisoning, Guest will have to initiate a separate suit to determine if she can recover from CreamCorp. While inefficient, this result does not render CreamCorp a necessary party under Rule 19. *See* FRIEDENTHAL, *supra*, at 359 n. 30. *Cf. Temple v. Synthes Corp.*, 498 U.S. 5, 7–8 (1990) (per curiam) (concluding that joint tortfeasors are permissive, not necessary, parties under Rule 19(a)). In short, Guest's ability to recover whatever (if anything) she is entitled to recover from Ron is unaffected by CreamCorp's absence.

Second, although CreamCorp may have an interest in the subject matter of the action if Ron attempts to prove that CreamCorp's product caused Guest's food poisoning, that interest is not likely to be impaired or impeded if CreamCorp is not joined. If the jury finds that Guest's illness was caused by the oysters, CreamCorp's interest would not be impaired. If the jury finds that Guest's illness was caused by CreamCorp's ice cream, CreamCorp will not be bound by the judgment since it was not a party, and it will be free to relitigate the issue of the ice cream's toxicity if Guest sues it in a separate lawsuit. *See Janney Montgomery Scott, Inc. v. Shepard Niles, Inc.*, 11 F.3d 399, 407 (3d Cir. 1993) (declining to hold that “any potential effect the doctrine [of stare decisis] may have on an absent party's rights makes the absent party's joinder compulsory under Rule 19(a)"); *Pujol v. Shearson/American Express, Inc.*, 877 F.2d 132, 136 (1st Cir. 1989) (stating that “[t]he mere fact . . . that Party A, in a suit against Party B, intends to introduce evidence that will indicate that a non-party, C, behaved improperly does not, by itself, make C a necessary party”).

Third, Ron does not face a substantial risk of incurring inconsistent obligations or double liability if CreamCorp is not joined here. If Ron is held liable to Guest, Ron will pay Guest but face no other liability or obligation on the same claim. If Ron is not held liable, then the possibility of double liability or inconsistent obligations does not exist.

Therefore, under Rule 19 Ron cannot compel Guest to join CreamCorp as an additional defendant.

Point Two: (20–30%)

Rule 13 of the Federal Rules of Civil Procedure not only permits, but requires, Ron to bring his claim for the unpaid restaurant bill as a counterclaim against Guest in the context of Guest's lawsuit against Ron because the counterclaim arises out of or relates to the same transaction or occurrence.

A claim for relief brought by a defendant against a plaintiff is called a counterclaim. Counterclaims are governed by Rule 13 of the Federal Rules of Civil Procedure. Rule 13 requires a defendant to bring a counterclaim against the plaintiff if the counterclaim arises out of the same transaction or occurrence as the plaintiff's claim against the defendant. FED. R. CIV. P. 13(a). Here, Ron's claim to be paid for the restaurant meal arises out of the same transaction and occurrence as Guest's claim that she became sick as a result of the meal. Both claims arose out of the meal Ron served to Guest.

Rule 13(b) further provides that an answer "*may* state as a counterclaim" any claim against the plaintiff "that is not compulsory" FED. R. CIV. P. 13(b) (emphasis added). Read together, these portions of the rule authorize Ron to bring a counterclaim against Guest for the unpaid \$50 regardless of whether it arises out of the same transaction or occurrence as Guest's claim against Ron. Therefore, it is not necessary to determine whether Guest's claim and Ron's claim arose out of the same transaction or occurrence. In either case, Ron may bring the claim.

Point Three: (25–35%)

The federal district court likely would have jurisdiction to hear the counterclaim under the supplemental jurisdiction statute, 28 U.S.C. § 1367, as long as the counterclaim for failure to pay the check and the plaintiff's claim for negligence form part of the same case for purposes of the case-or-controversy requirement of Article III.

Whether the federal court can assert jurisdiction over Ron's counterclaim is another matter. The counterclaim against Guest for failure to pay the \$50 is a state-law claim that could not be brought on its own in federal court. While there is complete diversity of citizenship between Guest and Ron, the amount in controversy on the unpaid restaurant check claim is only \$50 and doesn't come close to satisfying the \$75,000 amount-in-controversy requirement for diversity jurisdiction. *See* 28 U.S.C. § 1332(a).

However, where a federal court already has jurisdiction over some claims, the supplemental jurisdiction statute, 28 U.S.C. § 1367, authorizes district courts to hear claims that could not

otherwise be heard in federal court if those claims “are so related to [the primary] claims in the action . . . that they form part of the same case or controversy under Article III of the United States Constitution.” 28 U.S.C. § 1367(a). In determining whether or not the primary claim and the supplemental claim “are so related,” most courts apply the “common nucleus of operative fact” test announced by the United States Supreme Court in *United Mine Workers v. Gibbs*, 383 U.S. 715, 725 (1966) (stating that “[t]he state and federal claims must derive from a common nucleus of operative fact” to be part of the same “case” for constitutional purposes). See JAMES, *supra*, § 2.28 at 146–47.

Here, it is likely that Guest’s claim against Ron for food poisoning and Ron’s claim against Guest for the unpaid \$50 arise out of a common nucleus of operative fact, namely the alleged food-poisoning incident. The reason that Guest stopped payment on the check and declined to pay for the food was because the food allegedly made her ill. See, e.g., *Geisinger Medical Ctr. v. Gough*, 160 F.R.D. 467, 470 (M.D. Pa. 1994) (concluding that the defendant’s claim that the plaintiff committed medical malpractice was a compulsory counterclaim to the plaintiff’s claim to recover for unpaid medical bills; “[t]he counterclaim is thus an offshoot of the same basic controversy as the plaintiff’s claim and necessarily involves common issues of law and fact that would require duplicative effort if tried in a separate action”).

Section 1367(c) affords the district court discretion to decline to exercise supplemental jurisdiction in four circumstances: “(1) the claim raises a novel or complex issue of State law; (2) the claim substantially predominates over the claim or claims over which the district court has original jurisdiction; (3) the district court has dismissed all claims over which it has original jurisdiction; or (4) in exceptional circumstances, there are other compelling reasons for declining jurisdiction.” 28 U.S.C. § 1367(c). Here, the counterclaim for failure to pay the restaurant bill does not raise any novel or complex issues of state law. The restaurant bill claim does not predominate over the more factually complex claim of food poisoning. The district court has not dismissed the plaintiff’s claim. Nor are there any compelling reasons to decline to exercise jurisdiction. Therefore, it is likely that the district court would have supplemental jurisdiction to hear Ron’s counterclaim against Guest.

TRUSTS I.C.4., G.; II.C.; III.A., B.

ANALYSIS

- Legal Problems:
- (1) Can Husband pour over the assets of his probate estate into a revocable trust he did not create and, if yes, does an amendment to that trust made after Husband executed his will apply to the disposition of Husband's probate estate?
 - (2) Is Son entitled to a share of the assets contributed to Wife's Trust given that he had not reached age 21 when Wife and Niece died?
 - (3) Is Grandchild entitled to a share of the assets contributed to Wife's Trust under either the amendment to or the original terms of Wife's Trust?

DISCUSSION

Summary

Wife retained the power to amend Wife's Trust and therefore her amendment to that trust was valid. Under the Uniform Testamentary Additions to Trusts Act and like statutes, if a testator (Husband) bequeaths assets to the trustees of a revocable trust created by another (Wife), the terms of such trust, including amendments made after the testator signed his will, govern the disposition of the bequeathed assets. The terms of Wife's Trust, as amended, thus govern the disposition of Husband's probate estate. Son will take a share unless the trust instrument is construed to mean that the age contingency had to have been met when Niece died. Grandchild will take if he is treated as a substitute taker of Daughter's remainder interest. Under traditional anti-lapse statutes, Grandchild would not be a substitute taker; under some modern survivorship statutes (*see* Point Three), Grandchild would be.

Point One: (20–30%)

Husband can bequeath his probate assets to the trustees of a revocable trust created by Wife. The disposition of those assets will be governed by the terms of the trust, including amendments made after Husband executed his will.

Under the Uniform Testamentary Additions to Trusts Act and Uniform Probate Code (UPC), a person may bequeath assets to a trust created during the testator's lifetime, by the testator or another, so long as the trust is identified in the testator's will and its terms are incorporated in a writing executed before or concurrently with the execution of the testator's will. *See* UNIF. TESTAMENTARY ADDITIONS TO TRUSTS ACT § 1(a); UPC § 2-511(a). Under these acts, a devise is valid even if the trust is revocable or amendable. And, even if the trust is amended after the testator's will was executed, the terms of the amendment will govern the distribution of assets bequeathed to the trust. It makes no difference that the amendment was made by someone other than the testator. One of these uniform acts or a like statute has been enacted in *every* state. Thus

Husband could pour his estate over to Wife's Trust, and the amendments to that trust would govern the disposition of his estate.

Point Two: (25–35%)

Whether Son takes depends upon the construction of the amendment to Wife's Trust. If the provision is construed to mean that Niece's children must be 21 or older at the time they survive Niece, Son will not take. If the provision is construed to require only that Niece's children who survive her eventually reach the age of 21, Son will take if and when he reaches age 21.

The amendment to Wife's Trust is capable of two interpretations. The narrower interpretation is that Niece's children must satisfy both the age and survivorship contingencies *at* Niece's death in order to take. The more liberal interpretation is that the age contingency can be satisfied *after* Niece's death. In construing the instrument, the court will attempt to effectuate Wife's intent. A strong argument can be made that only Niece's children satisfying both the age and survivorship contingencies at her death should take since the amendment specifies distribution to "children age 21 or older who are living" when the trust terminates. However, it is hard to imagine why Wife would have wanted to exclude a child of Niece simply because the child had not yet attained the age of 21 *at* Niece's death. It can also be argued that given Son was only 15 when the amendment was signed, the sole purpose of the age 21 requirement was to assure that a beneficiary was of sufficient maturity when he/she took possession of the property and that Wife never anticipated that Niece would die only five years later. Bank could easily keep the trust open until it was clear whether the underage child could meet the age contingency. The fact that the trust amendment specifies that principal must be paid when the trust terminates, not when income beneficiaries die, might also support this interpretation of the instrument.

Point Three: (20–30%)

Grandchild can take a share of the trust only if Grandchild is a substituted taker for Daughter under state law. In most states, Grandchild would not be and thus would not take.

Grandchild is not a taker under the trust instrument because the gift was limited to Niece's *children* who survived the trust termination and the word "children" includes the ancestor's immediate offspring, not more remote descendants. Most state anti-lapse statutes apply only to wills and thus would not apply to the trust amendment. In these states, Grandchild would not take any share of the trust funded by gifts from Wife or from Husband's estate.

However, some states have enacted Uniform Probate Code § 2-707 or a like statute. Under this statute, when a remainder class gift is bequeathed to a class composed of children and a child dies before the event upon which the remainder becomes possessory (here Niece's death), a substitute gift is created in the descendants of the deceased child; words of survivorship (such as "who are living") do not affect the creation of a substitute gift. Thus, under Uniform Probate Code § 2-707 and like statutes, Grandchild would take as the representative of the deceased child beneficiary, Daughter. However, in some states with statutes similar, but not identical, to § 2-707, the survivorship contingency contained in the trust amendment could eliminate any subsequent gift to Grandchild.

FAMILY LAW I.F.; III.B., D.; IV.A., D., E.1.; CONFLICT OF LAWS II.B., III.C.5.

ANALYSIS

- Legal Problems:
- (1) Which state's law governs enforceability of the premarital agreement?
 - (2) Is the waiver-of-property-rights provision in the premarital agreement enforceable?
 - (3) Is the child-custody provision in the premarital agreement enforceable?
 - (4) Are profits from the songs Wendy wrote after separation but before the divorce filing marital property subject to division at divorce?

DISCUSSION

Summary

In determining the enforceability of a premarital agreement, some states apply the law of the state in which the contract was signed and others apply the law of the state with which the parties have the most significant relationship. Under either test, the law of State A will probably govern here. State A has adopted the Uniform Premarital Agreement Act (UPAA), under which an agreement will be enforced unless (1) the party against whom enforcement is sought did not execute the agreement voluntarily, or (2) that party did not receive or waive fair and reasonable disclosure of the assets and obligations of the other party and can show that the agreement was unconscionable when executed. Thus the property-distribution provision of the agreement would be enforceable under State A law. In all states, a premarital agreement respecting child support or custody is voidable based on the child's best interest. In most states, marital property continues to accrue at least until a divorce petition has been filed. Profits from property, such as a song, created by a spouse during the marriage are subject to distribution at divorce.

Point One: (15–25%)

In determining the enforceability of a premarital agreement, states apply either the law of the state in which the contract was executed (here State A) or the state with the most significant relationship to the parties and the transaction. Under either test the court will likely apply the law of State A.

Some states apply the law of the state in which a premarital contract was executed in determining its enforceability. *See, e.g., Hill v. Hill*, 262 A.2d 661 (Del. Ch. 1970). Under this approach, the court should apply the law of State A.

Others, probably more numerous, apply the law of the state with the most significant relationship to the matter at hand. *See* RESTATEMENT (SECOND) OF CONFLICT OF LAWS § 188. Hal and Wendy

entered into a premarital agreement in State A, married there, had a child there, and lived there for all but a few months of their six-year marriage. Wendy and Child are in State A and Wendy plans to remain there. Wendy has a strong argument that State A's law should govern because of its interest in assuring that contracts executed and marriages consummated within its borders comply with its policies. On the other hand, Hal is in State B, State B was the marital home when Hal and Wendy separated, and some marital assets may be located there. Thus, State B may also have an interest in applying its law.

On these facts, it is likely, but not certain, that State A's interests are stronger, and State A's law will likely apply under either test.

Point Two: (35–45%)

In determining whether a premarital agreement governing property distribution at divorce is enforceable, courts consider whether the agreement was voluntarily made, whether it is substantively fair, and whether full disclosure of assets and obligations was made. The weight assigned to these factors varies from state to state, but under the UPAA, an agreement entered voluntarily and with reasonable disclosure of assets and obligations is enforceable.

Although courts were once hostile to premarital agreements, today all states permit spouses to contract premaritally with respect to rights and obligations in property. In all states, the enforceability of a premarital agreement turns on three factors: voluntariness, fairness, and disclosure. How courts apply these factors varies significantly from one state to the next.

In many states, an agreement is unenforceable if the party against whom enforcement is sought succeeds in showing *any one of* involuntariness, unfairness, or lack of adequate disclosure. However, under the UPAA, which has been adopted in 25 states and State A, the party against whom enforcement is sought must prove (1) involuntariness or (2) that “the agreement was unconscionable when it was executed” *and* that he or she did not receive or waive “fair and reasonable” disclosure and “did not have, or reasonably could not have had, an adequate knowledge” of the other's assets and obligations. UPAA § 6(a). Thus, under the UPAA, a court may not refuse to enforce a premarital agreement based on substantive unfairness unless it also finds inadequate disclosure or lack of knowledge.

Wendy is highly unlikely to succeed in establishing inadequate disclosure or lack of knowledge. Lawyer gave Wendy copies of Hal's tax returns for the past three years and an accurate list of his assets. Under the UPAA, Wendy would thus be required to show that her execution of the agreement was involuntary in order to avoid its enforcement.

In considering whether a premarital agreement was voluntarily executed, courts look to whether there was fraud, duress, or coercion. They agree that one party's insistence on signing the agreement as a condition of the marriage does not, by itself, render the agreement involuntary, but there is no consensus on what additional facts are sufficient to establish involuntariness. *See* AMER. LAW INST., PRINCIPLES OF THE LAW OF FAMILY DISSOLUTION § 7.04, Reporter's Notes, cmt. b. & d.

Many of the reported cases, like this one, involve a claim of involuntariness based on presentation of an agreement very close to the wedding date. In analyzing whether an agreement signed under these circumstances is voluntary, courts have looked at a wide range of factors, including the difficulty of conferring with independent counsel, other reasons for proceeding with the marriage (for example, a preexisting pregnancy), and financial losses and embarrassment arising from cancellation of the wedding. HARRY D. KRAUSE & DAVID D. MEYER, *FAMILY LAW IN A NUTSHELL* 73 (4th ed. 2003). In this case, Hal presented the proposed agreement a full two weeks before the wedding. Wendy was mature, had been previously married, and made her decision to sign after conferring with her family. There are no facts indicating lack of opportunity to confer with counsel or any particular hardship that would result from canceling the wedding. On these facts, it is unlikely, although not impossible, that Wendy can establish involuntariness. Under the UPAA, the agreement is likely enforceable.

Point Three: (5–10%)

In all states, a premarital agreement regarding child support or custody is unenforceable if it is not in the best interest of the child.

The traditional rule is that a premarital agreement cannot bind a court deciding child support or custody. Although the UPAA does not explicitly bar an agreement respecting child custody, “[l]ong tradition . . . would seem to ensure . . . that courts would not consider themselves bound by custody provisions they believe injurious to the child’s interest. The law of separation agreements in every state is explicit on that point, and there is no reason why premarital agreements would be treated differently.” IRA M. ELLMAN ET AL., *FAMILY LAW: CASES, TEXT, PROBLEMS* 839 (3d ed. 1998).

Point Four: (20–30%)

Profits from a song written after separation but before a final divorce decree is entered are likely to be classified as marital property subject to division at divorce.

In the majority of states, marital property continues to accrue until a final divorce decree is entered. *See* HARRY D. KRAUSE ET AL., *FAMILY LAW: CASES, COMMENTS, AND QUESTIONS* 756–57 (5th ed. 2003). In some states, however, marital property ceases to accrue after the date of permanent separation (*see, e.g.*, N.C. GEN. STAT. § 50-20) or the date of filing for a divorce (*see, e.g.*, N.Y. DOM. REL. L. § 236B). Wendy’s songs were written after the five-year property-distribution waiver period provided for in the premarital agreement. Thus, because no divorce petition has been filed, Wendy’s songs are probably marital property.

The fact that Wendy has not yet received profits from the songs does not change this result. Today, even contingent expectancies such as nonvested pension rights are subject to division at divorce if they were acquired through spousal effort during the marriage. Thus profits from Wendy’s songs, even if payment has not yet been made, would be divisible at divorce if the songs were created during the marriage. *See* KRAUSE ET AL., *supra* at 774–75. Of course, a court might find that the songs were worthless or that their value was too speculative for distribution.

CONTRACTS VIII.A., F., G., K.

ANALYSIS

- Legal Problems:
- (1) Should Rancher's damages for harm to Ranch be measured by the cost of completion (\$500,000) or by the difference in value (\$20,000)?
 - (2) Were Rancher's losses from the roping clinics foreseeable?
 - (3) Were Rancher's losses from the roping clinics ascertainable with reasonable certainty?
 - (4) Should the award of damages for Rancher's losses from the roping clinics take into account expenses he avoided?
 - (5) Did the damage award properly account for losses Rancher could reasonably have avoided by mitigation?

DISCUSSION

Summary

Under basic principles of contract law an injured party is entitled to a damage award that will put him in the position he would have been in had the contract been performed. Here, with regard to the harm to Ranch, the question is whether the proper measure of damages is the cost of completion or the difference in value. Although the answer is not certain, the court probably did not err in awarding the cost of completion. With regard to the roping clinics, damages for Rancher's inability to conduct the clinics are recoverable only if foreseeable and reasonably certain. Here, while the damages are likely foreseeable, it is less clear that they are sufficiently certain. Even if the loss from the inability to conduct the clinics was foreseeable and certain, damages should have been reduced by any amount saved due to not conducting the clinics. Further, damages should be reduced by any amounts that could have been avoided through mitigation.

Point One: (40–50%)

Rancher is entitled to cost-of-completion damages because the breach appears to be willful and only cost-of-completion damages will enable Rancher to use Ranch for its intended purpose.

For breach of contract, the injured party may be entitled to expectation damages. These damages are intended to put the injured party in the same position as if the contract had been performed. *See* E. ALLAN FARNSWORTH, FARNSWORTH ON CONTRACTS § 12.8, at 190 (2004). Since Ranch was not restored to its pre-exploration condition, Rancher is entitled to damages. One measure of damages is the cost of restoration—here, \$500,000. *Id.* § 12.13. However, where an award might be wasteful, such as when the cost to restore (here \$500,000) would greatly exceed the difference

in value (here \$20,000), damages may be measured by the difference in value. *See Jacob & Youngs v. Kent*, 129 N.E. 889 (N.Y. 1921). But when the breach appears to be willful, as is the case here, and only completion of the contract will enable the non-breaching party to use the land for its intended purposes, the cost of completion is considered the appropriate damage award. *See American Standard, Inc. v. Schectman*, 439 N.Y.S.2d 529 (App. Div. 1981). Therefore, the court probably did not err in awarding Rancher the cost of returning Ranch to its pre-exploration condition.

Point Two: (5–10%)

Rancher's losses based on his failure to conduct roping clinics were foreseeable.

Contract damages must be foreseeable to be recoverable. FARNSWORTH ON CONTRACTS § 12.14. Damages are foreseeable if a reasonable person in the position of the breaching party would have known at the time the contract was made that the damages were likely to occur as a result of the breach. *Hadley v. Baxendale*, 156 Eng. Rep. 145 (Ex. 1854). Here, it is likely that Gasco would have known that if it did not restore Ranch, Rancher would not be able to hold his roping clinics. In fact, Rancher specifically told Gasco of his plans to hold the clinics on Ranch. Because of this direct communication, the damages caused by Rancher's inability to conduct the roping clinics were foreseeable.

Point Three: (5–10%)

Rancher can recover foreseeable losses from his inability to conduct the roping clinics only if those losses also were sufficiently certain.

Contract damages must be proved with reasonable certainty to be recoverable. FARNSWORTH ON CONTRACTS § 12.15. Here, Rancher faces the problem of a "new business." Although Rancher had conducted clinics on the road in the past, Rancher had not conducted clinics on Ranch. While most states no longer apply a per se rule denying recovery to all new businesses, courts still are reluctant to award lost profits to new businesses, because such profits "are regarded as being too remote, contingent and speculative to meet the standard of reasonable certainty." *Western Publ'g Co. v. Mind Games, Inc.*, 944 F. Supp. 754, 756 (E.D. Wis. 1996).

Here, it is a close call whether there is sufficient certainty to award Rancher his lost profits from the roping clinics. On one hand, there is no reasonable certainty that the clinics would have been a success, or that 50 people would have attended each year. On the other hand, Rancher has run roping clinics in the past and so has some track record on which to base a damage award. *See Fun Motors of Longview v. Gratty, Inc.*, 51 S.W.3d 756 (Tex. Civ. App. 2001) (experience of the person involved relevant in determining certainty of damages).

Point Four: (10–20%)

Rancher's award should have been reduced by the expenses Rancher would have incurred in conducting the roping clinics.

Contract damage awards must take into account costs avoided because of the breach. FARNSWORTH ON CONTRACTS § 12.9, at 209. Here, even if Rancher's claimed damages of \$300,000 were foreseeable and certain, that amount represents the gross amount that Rancher would have received. In order to receive that amount, Rancher would have incurred expenses. Gasco's breach saved him those expenses. Therefore, even if the award of \$300,000 was foreseeable and reasonably certain, it should be reduced to the net amount Rancher would have earned after expenses. *See, e.g., Lieberman v. Templar Motor Co.*, 140 N.E. 222, 225 (N.Y. 1923).

Point Five: (10–20%)

It is uncertain whether Rancher's award should have been reduced by the amount of loss Rancher could have avoided by going on the road with his roping clinics.

The \$300,000 award of damages may be reduced by the amount Rancher could have earned by mitigating his loss. Mitigation requires the injured party to take reasonable steps to reduce the damages. FARNSWORTH ON CONTRACTS § 12.12, at 232. Here, Rancher offered clinics on the road before he bought Ranch. After the breach Rancher could have resumed these activities as mitigation, as that alternative may not be viewed as substantially different from or inferior to the clinics he planned to offer on the ranch. *Id.* However, the need to travel might make this alternative inferior. *See Parker v. Twentieth Century-Fox Film Corp.*, 474 P.2d 689 (Cal. 1970). Therefore, it is uncertain whether Rancher's award should be reduced by the amount he could have earned by offering the roping clinics on the road.

NEGOTIABLE INSTRUMENTS (COMMERCIAL PAPER) II.B., E.; IV.H.; V.B., K.

ANALYSIS

- Legal Problems:
- (1)(a) Did Law Firm's check and letter constitute an accord and satisfaction of Finisher's claims against Law Firm?
 - (1)(b) Can Finisher avoid the accord and satisfaction?
 - (2) Is CheckNow liable to Finisher for conversion of the Restaurant check?

DISCUSSION

Summary

Under UCC § 3-311, the Law Firm check together with the letter from Law Firm constituted an accord and satisfaction against Finisher if: (1) Law Firm tendered the check in good faith as payment in full; (2) the amount of Finisher's claim was subject to a bona fide dispute; (3) Finisher obtained payment of the check; and (4) Law Firm included on the check or an accompanying written communication a conspicuous statement to the effect that the check was tendered as payment in full. Although an accord and satisfaction can sometimes be avoided, Finisher will not be able to avoid it in this case because the check was received and deposited by Administrator, who was not merely a processing clerk for Finisher but instead had direct responsibility for resolving the dispute between Finisher and Law Firm.

CheckNow is not liable to Finisher because Administrator's indorsement on behalf of Finisher was not a forgery and even if it was, it was nonetheless effective under UCC § 3-405(b).

Point One(a): (40–50%)

The Law Firm check constituted an accord and satisfaction.

UCC § 3-311 governs accord and satisfaction by use of an instrument. An accord and satisfaction occurs when a debtor offers a sum of money, or some other stated performance, in settlement of a debt, and the creditor accepts the proposed performance in satisfaction of the debt. The purpose of accord and satisfaction is to allow parties to resolve disputes without judicial intervention. Section 3-311 provides statutory requisites for an accord and satisfaction accomplished by use of an instrument.

UCC § 3-311 follows the common law rule regarding accord and satisfaction with minor variations to reflect modern business conditions. UCC § 3-311, cmt. 3. To accomplish an accord and satisfaction by use of an instrument, certain conditions must be met. The person seeking satisfaction must do so in good faith, the amount of the claim must be subject to dispute, and the person to whom the instrument is tendered must obtain payment of the instrument. UCC § 3-311(a). In addition, "the instrument or an accompanying written communication" must clearly

state that the instrument is tendered in full satisfaction of the debt. UCC § 3-311(b). If those conditions are satisfied, then an accord and satisfaction is accomplished, subject to limited exceptions discussed in Point One(b).

On our facts, the requirements of an accord and satisfaction are met. First, the Law Firm check is an instrument. UCC § 3-104(c). Second, it appears that Law Firm acted in good faith. “Good faith” means honesty in fact and the observance of reasonable commercial standards of fair dealing. UCC § 3-103(a)(4). There is nothing in the facts to suggest that Law Firm was trying to take advantage of Finisher or otherwise acting in bad faith. Thus, the good faith requirement is met.

Third, the amount that Law Firm owed was subject to a bona fide dispute. Not only did Law Firm have a claim in recoupment regarding damage to the carpet (that might reduce what was owed to Finisher), but that claim was unliquidated because there was no agreement on the amount of the damage to the carpet.

Lastly, Finisher obtained payment of the instrument, which was plainly marked “payment in full” and was attached to a letter making a clear assertion that the check was sent in settlement of the dispute about the damage to the carpet.

Point One(b): (10–20%)

Because Administrator had direct responsibility to resolve customer complaints, the accord and satisfaction was not inadvertent, and Finisher cannot avoid it.

Under some circumstances, a creditor can avoid an accord and satisfaction that is made inadvertently (e.g., when a creditor obtains payment of a check without realizing that the check was offered in full satisfaction of the creditor’s claim). Thus, despite entering into an apparent accord and satisfaction, a creditor can sometimes preserve its rights by tendering repayment of the amount it received in satisfaction within 90 days after it obtains payment of the instrument. *See* UCC § 3-311(c).

However, an accord and satisfaction cannot be avoided where it was *not* inadvertent. Thus, when the claimant, “or an agent of the claimant having direct responsibility with respect to the disputed obligation,” actually knows that an instrument is tendered in full satisfaction, then the claimant’s claim is discharged if payment is obtained on the instrument. *See* UCC § 3-311(d).

Here, the full satisfaction tender was made in plain terms to Administrator, an agent to whom Finisher had given responsibility for the resolution of customer disputes. Moreover, given that the check was clearly marked as a “full satisfaction” check and was accompanied by a letter to that effect, it is likely that Law Firm could prove that Administrator knew that the check was tendered in discharge of Law Firm’s debt.

Point Two: (35–45%)

Finisher cannot recover in conversion against CheckNow because Administrator's indorsement on the check in Finisher's name is effective.

UCC § 3-420 governs whether CheckNow is liable for its conversion of the Restaurant check. Subpart (a) provides that an instrument [in this case the Restaurant check] is converted “if it is taken by transfer, other than a negotiation, from a person not entitled to enforce the instrument” Section 3-420 permits the true owner of a check to recover the amount of the check from a person who “takes an instrument bearing a forged indorsement” and obtains payment on that instrument for himself or herself. *See* § 3-420, cmt. 1.

Finisher made Administrator an agent for purposes of handling checks and gave Administrator express authority to indorse checks on Finisher's behalf as part of Administrator's job responsibilities. So even though Administrator was not authorized to cash the check and keep its proceeds, Administrator's signing of the check in Finisher's name was authorized and not a forgery. *See* UCC § 3-402, cmt. 1 (signature by a representative binds the represented person if the represented person would be bound under ordinary agency law principles).

The properly indorsed check was bearer paper, and Administrator was a holder of it. UCC § 3-205(b). (The facts do not indicate that the check was restrictively indorsed, i.e., “for deposit only.”) As a holder, Administrator was a person entitled to enforce the instrument. Thus, when CheckNow cashed the check, it gave value for the check to a person “entitled to enforce the instrument.” This is not a conversion under UCC § 3-420.

2009 MEE
Questions and Analyses

2009 MEE Questions and Analyses

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the February 2009 MEE. Each test includes nine questions; most jurisdictions that use the MEE select six questions for their applicants to answer. In the actual test, the questions are simply numbered rather than being identified by area of law. The instructions for the test appear on page iii. For more information, see the *MEE Information Booklet*, available on the NCBE website at www.ncbex.org.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions for the sole purpose of assisting graders in grading the examination. The model analyses are not an official grading guide. Some states grade the MEE on the basis of state law, and jurisdictions are free to modify the analyses, including the suggested weights given to particular points, as they wish. Grading of the MEE is the exclusive responsibility of the jurisdiction using the MEE as part of its admissions process.

The topics covered by each question are listed on the first page of its accompanying analysis, followed by roman numerals which refer to the MEE subject matter outline for that topic. For example, the Federal Civil Procedure and Conflict of Laws question on the February 2009 MEE tested the following areas from the Federal Civil Procedure outline: I.D., jurisdiction and venue—service of process and notice and II.A., law applied by federal courts—state law in federal court; and the following areas from the Conflict of Laws outline: III.B., choice of law—choice of law theories and C.1., application in specific areas—torts. Subject matter outlines are included in the *MEE Information Booklet*.

Description of the MEE

The MEE is a series of essay questions, any of which a jurisdiction may select to include as a part of its bar examination. Applicants are expected to spend approximately 30 minutes answering each MEE question administered. The areas of law that may be covered by the questions on any MEE are Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Conflict of Laws, Constitutional Law, Contracts, Criminal Law and Procedure, Evidence, Family Law, Federal Civil Procedure, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Uniform Commercial Code (Negotiable Instruments (Commercial Paper); Secured Transactions). Some questions may include issues in more than one area of law.

The purpose of the MEE is to test the applicant's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the applicant to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test form contains the following instructions:

Do not break the seal on this booklet until you are told to begin.

Each question is designed to be answered in 30 minutes. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions to follow.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Your jurisdiction may instruct you to answer MEE questions according to the law of the jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

February 2009
Questions

MEE Question 1

Hanson's Fruitcakes (Hanson's) is the largest producer of fruitcakes in the world. The company was founded 150 years ago and uses an original secret recipe closely guarded by the company.

Because of a significant drop in the demand for fruitcakes, Hanson's decided to expand its product line to include other baked goods that will not compete with its fruitcakes.

Because Hanson's has limited experience producing baked goods other than fruitcakes, it decided to hire Taster as a consultant. The contract between Hanson's and Taster provided as follows:

- (1) Taster would travel for six months tasting baked goods at "high-end" bakeries. Taster was expressly authorized, on behalf of Hanson's, to buy the recipes of any baked goods he thought Hanson's could produce successfully. Taster was expressly prohibited from committing Hanson's to pay more than \$5,000 cash for any one recipe, because market research confirmed that baked-goods recipes typically sold for prices between \$3,000 and \$6,000.
- (2) Hanson's would disclose to Taster the secret recipe for Hanson's fruitcake so that Taster would not inadvertently agree to buy any baked-goods recipes that were substantially similar to the fruitcake. Taster is required to keep Hanson's recipe secret from everyone.

Hanson's president announced the company's plans to expand its product line at the annual baking industry trade show attended by everyone in the baking industry. At the trade show, Hanson's president stated: "Hanson's is breaking new ground in the baking industry by hiring a consultant, Taster. Taster will be entering into contracts to buy recipes from other bakers on Hanson's behalf." Hanson's president did not disclose the precise terms of the Hanson's-Taster contract.

Purporting to act on behalf of Hanson's, over the next four months Taster entered into contracts to buy the following recipes:

- (1) Boysenberry-granola muffins for \$4,000 from Monumental Muffins,
- (2) Almond-pecan tarts for \$6,000 from Bakers Bonanza, and
- (3) Chocolate truffle cake from Parisian Delights in exchange for a copy of Hanson's secret fruitcake recipe.

Purporting to act on behalf of Hanson's, Taster also entered into a contract with Ironcast Enterprises to buy a sophisticated baking oven for \$5,000.

Is Hanson's legally bound to any of the four contracts made by Taster? Explain.

MEE Question 2

Plaintiff, an employee of Contractor, was injured while using a table saw manufactured by Defendant and owned by Contractor. Plaintiff sued Defendant in federal court to recover damages for his injuries.

At trial, Defendant called Witness, another employee of Contractor. Neither Witness nor Contractor is a party to Plaintiff's action against Defendant. On direct examination, Witness testified that he saw Plaintiff remove a safety guard from the table saw on the morning of the accident.

During cross-examination by Plaintiff's Counsel, Witness testified as follows:

PLAINTIFF'S COUNSEL: At the time you applied for your job with Contractor, you had three years of previous construction experience, didn't you?

WITNESS: Yes.

PLAINTIFF'S COUNSEL: Didn't you lie about how much construction experience you had when you applied for the job with Contractor?

DEFENSE COUNSEL: Objection, inadmissible character evidence.

PLAINTIFF'S COUNSEL: We are impeaching this witness with a specific instance of untruthful conduct under Rule 608(b), Your Honor.

COURT: Overruled.

PLAINTIFF'S COUNSEL: I'll repeat my question—didn't you lie about how much construction experience you had?

WITNESS: No, I did not.

PLAINTIFF'S COUNSEL: Isn't Plaintiff's Exhibit 37 a genuine copy of your job application?

WITNESS: Yes, it is.

PLAINTIFF'S COUNSEL: Didn't you lie on that application?

WITNESS: No.

PLAINTIFF'S COUNSEL: We offer Plaintiff's Exhibit 37.

DEFENSE COUNSEL: Objection, inadmissible character evidence.

COURT: Approach the bench. (The following occurred outside the hearing of the jury.)

PLAINTIFF'S COUNSEL: Judge, this is a copy of Witness's job application in which he represented that he had twelve years of construction experience when he actually had only three.

COURT: Sustained.

Plaintiff's Counsel then asked Witness to review Plaintiff's Exhibit 37 to refresh his recollection about whether he had lied. Witness did so and then testified: "I didn't lie."

Plaintiff's Counsel thereafter re-offered Exhibit 37, claiming that it was admissible under Rule 612 to refresh Witness's recollection. Defense Counsel objected, and the Court sustained the objection.

MEE Question 2

Later, Plaintiff's Counsel called Contractor to testify. During direct examination, Plaintiff's Counsel asked Contractor, "Did Witness tell you that he had twelve years of construction experience during his job interview?" Defense Counsel objected that this was inadmissible character evidence, and the Court sustained the objection.

Did the Court err in:

1. Overruling Defense Counsel's objection to cross-examination about an alleged lie by Witness? Explain.
2. Sustaining Defense Counsel's objection to the introduction of Exhibit 37 as inadmissible character evidence? Explain.
3. Sustaining Defense Counsel's objection to the introduction of Exhibit 37 to refresh the recollection of Witness? Explain.
4. Sustaining Defense Counsel's objection to Contractor's testimony? Explain.

MEE Question 3

In 2004, Testator duly executed a will providing as follows:

1. I give my 100 shares of XYZ common stock to my cousin Andy.
2. I give my home at 4 Cypress Garden to my cousin Ben.
3. I give my automobile to my friend Carrie.
4. I give \$10,000 to my friend Donna.
5. I give the residue of my estate to my friend Ed.

In 2006, Testator sold her home at 4 Cypress Garden and, with the entire sales proceeds, purchased a condominium as her new home.

In 2007, Testator traded the white automobile that she owned when her will was executed for a blue automobile.

In 2008, Testator died. At the time of her death, Testator owned 200 shares of XYZ common stock, having acquired an additional 100 shares as the result of a dividend paid by XYZ to its shareholders in its own stock. Testator also owned the condominium, the blue automobile, and a \$50,000 bank account.

Testator was survived by Andy, Ben, Carrie, Donna, and Ed. She was also survived by Donna's daughter. Three months after Testator died, Donna made a valid disclaimer of any rights to the \$10,000 bequest to which she might otherwise be entitled. Testator's will was admitted to probate.

To whom should Testator's probate estate be distributed? Explain.

MEE Question 4

Several years ago, Parent, the record owner of a farm in fee simple absolute, conveyed the farm as a gift “jointly in fee to my beloved daughters, Jessie and Karen, equally, to share and share alike.” Parent delivered the deed to Jessie and Karen. The deed was never recorded.

Two years ago, Jessie borrowed \$60,000 from Credit Union, securing the loan by granting Credit Union a mortgage on her interest in the farm. Credit Union properly and promptly recorded the mortgage.

Six months ago, Jessie validly contracted to sell her one-half interest in the farm for \$90,000 to Buyer, who was very anxious to acquire Jessie’s interest. Buyer paid Jessie \$40,000 as earnest money and agreed in the contract to accept a deed with no warranties of any kind and to accept the title regardless of whether title was marketable. Buyer had no actual notice of the mortgage Jessie had granted to Credit Union.

Two months ago, before closing the sale with Buyer, Jessie died, survived by Karen. At the time of Jessie’s death, the loan secured by Credit Union’s mortgage was still outstanding. Jessie’s will provided: “I give all of my real property to Devisee and all of my personal property to Legatee.” Both Devisee and Legatee survived Jessie.

Last month, the executor of Jessie’s estate executed a deed purporting to convey a one-half interest in the farm to Buyer in exchange for the balance of the purchase price.

The jurisdiction has a notice-type recording statute and a grantor-grantee index system.

1. Did Parent convey the farm to Jessie and Karen as “tenants in common” or as “joint tenants with right of survivorship”? Explain.
2. Assuming Jessie and Karen acquired a joint tenancy with right of survivorship in the farm, what are the rights, if any, of Karen, Credit Union, and Buyer in the farm? Explain.
3. Assuming Jessie and Karen acquired a joint tenancy with right of survivorship in the farm, who is entitled to the balance of the purchase price Buyer paid the executor of Jessie’s estate? Explain.

MEE Question 5

Bearco is a corporation incorporated under the laws of State A. Bearco maintains its corporate and administrative offices in State A; its factories are located in State B. Bearco's popular stuffed toy bear, "Griz," is sold throughout the United States. Bearco has registered the trademark "Griz" with the United States Patent and Trademark Office.

Copyco is a corporation incorporated under the laws of Country X, a foreign country, where Copyco has its manufacturing facilities and corporate offices. Copyco sells a line of toy bears called "Griz," which look remarkably similar to the Bearco "Griz" bears. Copyco sells its bears to consumers throughout the United States. However, it sells only on the Internet, using a parcel delivery service to deliver the bears to consumers. The Copyco website does not list a telephone number, street address, or post office box for the company. It lists only an e-mail address and an Internet address.

Bearco has filed an action against Copyco in the United States District Court for State A, properly invoking the court's federal question and diversity jurisdiction. Bearco alleges both trademark infringement (a federal law claim) and unfair competition (a tort claim that, in the United States, is based on state law).

State A and State B have materially different unfair-competition laws. Unfair competition is not actionable under the law of Country X.

To address choice-of-law problems, State A follows the "most significant relationship" approach of the Restatement (Second) of Conflict of Laws. State B applies the "vested rights" approach of the Restatement (First) of Conflict of Laws. Country X's choice-of-law methodology is unknown.

Bearco has been unable to determine Copyco's street address or post office box address either in the United States or in Country X and has filed a motion requesting that the district court authorize service of the summons and complaint by e-mail. There are no international agreements that affect the court's resolution of the issues in this case.

1. If the United States District Court for State A permits service of process on Copyco by e-mail, would such e-mail service be consistent with the Federal Rules of Civil Procedure and the United States Constitution? Explain.
2. Which jurisdiction's law should the United States District Court for State A apply to resolve Bearco's unfair-competition claim? Explain.

MEE Question 6

Drawer wrote a check, drawn on Bank, to Payee for \$3,000 and delivered the check to Payee as payment for services Payee had performed for Drawer. Before Payee had a chance to deposit the check in her bank account, she was robbed at gunpoint by Thief, who took her handbag with the check in it. After Thief discovered Payee's check in her handbag, he used the examples of Payee's signature on various pieces of identification inside her wallet to create a perfect forgery of Payee's signature on the back of the check.

The next day, Thief agreed to buy a used car from Seller for \$3,000. Thief offered Seller the \$3,000 check stolen from Payee as payment for the car. Thief told Seller that his friend, Payee, owed him \$3,000 and had signed the check over to him so that he could use it to pay for the car. Seller was initially reluctant to take the check in payment for the car. However, Thief showed Payee's driver's license to Seller, explaining that Payee had lent him her ID while she was at work. Seller saw that the signature on the check matched the signature on the driver's license, so he was convinced that Thief was telling the truth and that Payee had negotiated the check to Thief. Acting in good faith, Seller took the check in payment for the car, gave Thief the car keys, and signed the certificate of title over to him. Thief drove off in the car.

The next day, Seller took Payee's check to Bank and tried to cash it, but Drawer had stopped payment on the check after Payee had told him that the check had been stolen. Accordingly, Bank's teller refused to pay the check.

Does Seller have a right to recover the amount of the check from any of Payee, Drawer, Bank, or Thief? Explain as to each.

MEE Question 7

Tenant lives in Landlord's apartment building. The furnace in the building was inoperable during three periods last winter, causing the loss of heat and hot water. On each of those occasions, Landlord made temporary repairs.

On March 25, the furnace again broke down. Landlord was promptly notified of the problem and he ordered the parts needed to fix the furnace on March 26, but they did not arrive until April 6, at which time Landlord fixed the furnace. Between March 25 and April 5, there was no heat or hot water in the building.

In order to bathe from March 25 through April 5, Tenant heated a large pot of water on the stove. After the water boiled, Tenant transferred the water to the bathtub, mixed in cold water, and then used the water to bathe.

On April 3, Nephew, Tenant's eight-year-old nephew, arrived for a visit. On April 4, Tenant was carrying a pot of boiling water down the hall to the bathroom when Nephew, who was chasing a ball out of a bedroom that opened into the hall, collided with Tenant. As a result of the collision, the hot water spilled on Nephew, seriously burning him. Nephew did not look or call out before running into the hall.

A state statute provides that "every apartment building . . . and every part thereof shall be kept in good repair. The owner shall be responsible for compliance A violation shall be punishable by a fine not exceeding \$500."

Nephew, by his guardian, sued Tenant and Landlord for damages. At trial, both Tenant and Landlord argued that Nephew's negligence was the sole cause of the accident.

Based on these facts, may the jury properly award Nephew damages for his personal injury:

1. From Tenant? Explain.
2. From Landlord? Explain.

MEE Question 8

Fourteen years ago, Mom and Dad had a brief romance while Dad was on vacation in State A, where Mom lived. Nine months after Dad returned to his home in State B, Mom telephoned Dad. Mom told Dad that she had just given birth to Child and that Dad was Child's father. Mom also told Dad that, if he would agree to waive his right to establish his paternity of Child, she would sign a release waiving all rights to seek child support from him. Dad agreed to Mom's proposal, and they signed a written contract containing the terms outlined by Mom.

Mom is a college graduate and had an excellent job when Child was born. However, she has developed a chronic disease and is no longer able to fully provide for herself and Child, now age 14.

Mom brought an action against Dad in State A seeking to establish his paternity of Child and obtain child support, claiming that the contract waiving her right to child support is unenforceable. She served Dad by registered mail in State B, where he has continued to live since Child's birth. Dad has not visited State A since his vacation there more than 14 years ago and has never met Child.

State A's long-arm statute provides that a court has personal jurisdiction over an alleged parent for purposes of determining paternity and support obligations if the alleged parent "engaged in sexual intercourse in this state and the child may have been conceived by that act of intercourse."

Dad moved to dismiss Mom's petition on the ground that the State A court's assertion of personal jurisdiction over him to determine paternity and child support would violate due process requirements. The trial court denied the motion, and Dad entered a special appearance, preserving his right to appeal on the jurisdictional claim.

On the merits, Dad argues that the contract he and Mom made shortly after Child's birth should be enforced. In the event that the court declines to enforce the contract, Dad argues that the equities of the case require that the value of any child support awarded to Mom be calculated based on state public-assistance benefit levels or, in the alternative, that he be awarded custody of Child. Dad also seeks liberal visitation with Child in the event that the court awards custody to Mom.

1. Was the court's assertion of personal jurisdiction over Dad to determine Dad's paternity and support obligations consistent with due process requirements? Explain.
2. Assuming the court has personal jurisdiction over Dad, how should the court rule on the child support, custody, and visitation issues? Explain.

MEE Question 9

Corporation has 20 shareholders. Its largest shareholder, Major, owns just over 30 percent (30%) of Corporation's shares. No other shareholder owns more than five percent (5%) of the shares.

Major is also the president and one of the five directors of Corporation. The other four directors are also shareholders of Corporation.

Over the past two years Major, acting in his capacity as president of Corporation, has persuaded Corporation's board of directors (Board) to approve the purchase of a number of valuable items of Major's personal property appropriate for Corporation's business. Corporation paid vastly inflated prices for Major's property.

Major always informed Board of each proposed purchase before it was made. In each case, Minor, another member of Board, asked Major whether the purchase price was "fair." Major always replied: "I have investigated the value of my property to be purchased by Corporation and I assure you that the purchase price represents its fair market value." Board, relying on this statement and undertaking no further inquiry, always approved the purchases, with Major abstaining from voting.

Corporation's articles of incorporation contain a provision that exculpates the directors of the corporation for liability to the corporation for money damages "to the fullest extent permitted" by the applicable corporation-law statute.

A shareholder derivative suit has been properly brought against Corporation's directors seeking money damages for breach of their fiduciary duties as directors with regard to the transactions between Corporation and Major.

1. Will the directors (other than Major) be protected from liability by the business judgment rule? Explain.
2. Will Major be protected from liability by the business judgment rule? Explain.
3. Will Major be protected from liability by Board's approval of the transactions? Explain.
4. Will the directors (other than Major) be protected from liability by the exculpatory provision in the articles of incorporation? Explain.
5. Will Major be protected from liability by the exculpatory provision in the articles of incorporation? Explain.

February 2009
Analyses

AGENCY AND PARTNERSHIP I.A.; II.A., B.

ANALYSIS

- Legal Problems:
- (1) Did Taster have actual authority to buy Monumental Muffins' muffin recipe for \$4,000?
 - (2) Did Taster have apparent authority to buy Bakers Bonanza's tart recipe for \$6,000?
 - (3) Did Taster have any authority to buy Parisian Delights' cake recipe in exchange for a copy of Hanson's fruitcake recipe?
 - (4) Did Taster have any authority to buy the baking oven from Ironcast Enterprises for \$5,000?

DISCUSSION

Summary

Taster purported to act as Hanson's agent. An agent acts with actual or apparent authority. Taster had actual authority to buy recipes for \$5,000 cash or less. Hanson's is clearly bound to the contract with Monumental Muffins because Taster had actual authority to enter into that contract. Taster had apparent authority to enter into the contract with Bakers Bonanza and Hanson's is legally bound to that contract. Taster had no authority to reveal Hanson's secret recipe, and it was unreasonable for Parisian Delights to believe that Taster had such authority, so Hanson's is not bound to that contract. Taster also had no authority to enter into the contract with Ironcast, and Hanson's is not legally bound to that contract.

Point One (10–20%)

Taster had actual authority to enter into the Monumental Muffins muffin recipe contract for \$4,000 on Hanson's behalf. Therefore, Hanson's is legally bound to that contract.

When Hanson's hired Taster to act on Hanson's behalf, an agency relationship was created. *See* RESTATEMENT (THIRD) OF AGENCY § 1.01 ("Agency is the fiduciary relationship that arises when one person (a "principal") manifests assent to another person (an "agent") that the agent shall act on the principal's behalf. . . ."). As Hanson's agent, Taster had actual authority to "take action designated or implied in [Hanson's] manifestations to [Taster] and acts necessary or incidental to achieving [Hanson's] objectives. . . ." *Id.* at § 2.02(1).

The contract between Hanson's and Taster empowered Taster to enter into contracts on Hanson's behalf to buy baked-goods recipes for a price not to exceed \$5,000. Thus, Taster had actual

authority to enter into the contract to buy Monumental Muffins' muffin recipe for \$4,000, and Hanson's is legally bound to that contract.

Point Two (30–40%)

Taster had apparent authority to enter into the contract with Bakers Bonanza to buy the almond-pecan tart recipe for \$6,000 on Hanson's behalf. Therefore, Hanson's is legally bound to that contract.

An agent has apparent authority to act on behalf of a principal when “a third party reasonably believes the actor has authority to act on behalf of the principal and that belief is traceable to the principal's manifestations.” RESTATEMENT (THIRD) OF AGENCY § 2.03. Apparent authority can co-exist with actual authority; it can also exist in the absence of any actual authority. *See In re Victory Corrugated Container Corp.*, 183 B.R. 373, 376–77 (Bankr. D.N.J. 1995).

Here, Taster did not have actual authority to enter into contracts exceeding \$5,000. Thus, Taster did not have actual authority to contract with Bakers Bonanza for \$6,000. However, Hanson's president stated at the annual baking industry trade show that Taster would be buying recipes on Hanson's behalf. These manifestations by Hanson's would reasonably cause Bakers Bonanza to believe that Taster was acting with authority when contracting to buy recipes. The manifestations were made by Hanson's president, a person entitled to speak on behalf of Hanson's. The amount involved (\$6,000) was within the price range typically paid for baked-goods recipes. Therefore, Taster had apparent authority to enter into the contract to buy Bakers Bonanza's tart recipe and Hanson's is legally bound to that contract.

Point Three (20–30%)

Taster did not have authority to buy Parisian Delights' chocolate truffle cake recipe in exchange for Hanson's fruitcake recipe. Therefore, Hanson's is not legally bound to that contract.

Taster did not have actual authority to buy Parisian Delights' cake recipe in exchange for Hanson's fruitcake recipe—in fact, Taster's contract expressly forbids such an action. Nor did Taster have apparent authority to enter into the contract with Parisian Delights. Here, the facts state that baked-goods recipes typically sold for \$3,000 to \$6,000. There is no suggestion that the use of non-cash consideration is typical. Further, given Hanson's long history in the baking industry and its close guarding of the fruitcake recipe, Parisian Delights may well have known that Hanson's fruitcake recipe was secret and that its disclosure was not authorized. When facts suggest it may be unreasonable for a third party to believe that a purported agent has authority, the third party has the duty to make further inquiry. *See* RESTATEMENT (THIRD) OF AGENCY § 2.03. Had Parisian Delights asked Hanson's if Taster had authority to obtain recipes for non-cash consideration, Taster's lack of any authority would have been readily determinable.

[NOTE: Applicants should not receive any credit for discussing inherent authority as that doctrine is not applicable generally nor on the facts.]

Point Four (10–20%)

Hanson's is not liable to Ironcast Enterprises on the contract for the oven as Taster had no authority to enter into that contract on Hanson's behalf.

Taster had no actual or apparent authority to enter into the contract with Ironcast Enterprises to buy the baking oven on Hanson's behalf. Actual authority does not exist because the contract limited Taster's authority to acquiring recipes—contracting to buy an oven was not within the express grant of authority nor was it an act “necessary or incidental to achieving the principal's objectives.” RESTATEMENT (THIRD) OF AGENCY § 2.02. Apparent authority does not exist because no acts of Hanson's reasonably interpreted could have caused Ironcast to believe that Taster had authority to buy baking equipment. Therefore, Hanson's is not legally bound on the contract to buy the oven from Ironcast for \$5,000.

EVIDENCE I.A.2. & 3., C.1., D.1. & 5.; II.C.1. & 2.

ANALYSIS

- Legal Problems:
- (1) Under Rule 608(b), was it proper to cross-examine Witness about his alleged lie on his job application?
 - (2) Under Rule 608(b), was Witness's job application admissible to contradict Witness's denial that he had lied, or was it inadmissible extrinsic evidence?
 - (3) If Witness's job application was not admissible for impeachment purposes under Rule 608(b), could the exhibit be admitted into evidence to refresh recollection under Rule 612?
 - (4) Under Rule 608(b), was Contractor's testimony admissible to impeach Witness, or was it inadmissible extrinsic evidence?

DISCUSSION

Summary

Under Rule 608(b), a trial court has discretion to permit cross-examination of a witness concerning a specific instance of untruthful conduct. Lying on a job application represents untruthful conduct and an important issue in this case—whether Plaintiff removed the safety guard—will probably turn on the credibility of the witnesses. Thus, the Court was within its discretion in permitting the cross-examination. With respect to the job application, Rule 608(b) expressly forbids the admission of extrinsic evidence of a prior bad act. Some federal courts hold that any document is extrinsic evidence; others hold that a document is not extrinsic evidence if it can be authenticated by the witness. Thus, the Court was within its discretion in excluding Exhibit 37, the job application. Exhibit 37 was inadmissible even if it had been used to refresh Witness's recollection because the use of Exhibit 37 to refresh Witness's recollection does not make it automatically admissible. Rule 612 authorizes admission of a recollection-refreshing exhibit only if offered by the lawyer who has not used the exhibit to refresh the recollection of the witness. Finally, Contractor's testimony was not admissible under Rule 608(b) because, although probative of untruthfulness, it was clearly extrinsic evidence.

Point One (25–35%)

The trial court acted within its discretion in permitting cross-examination concerning the alleged lie on Witness's job application because lying about one's job experience is probative of untruthfulness.

The standard of review regarding an alleged error in an evidentiary ruling is abuse of discretion. *United States v. Alexander*, 849 F.2d 1293, 1301 (10th Cir. 1988). A trial court's ruling should be affirmed, even if the court of appeals would make a different ruling, if the challenged ruling lies within the zone of reasonable disagreement.

Character evidence is generally inadmissible to prove action in conformity with the character trait. FED. R. EVID. 404(a). However, when a person testifies as a witness, that person's credibility becomes a material issue; a witness's credibility thus may be attacked by showing that the witness has an untruthful character. FED. R. EVID. 404(a)(3). Accordingly, a court may, in its discretion, admit evidence relating to a prior bad act if it is offered during cross-examination of the witness being impeached and is "probative of . . . untruthfulness." FED. R. EVID. 608(b). Conduct that involves falsehood or deception is generally considered probative of untruthfulness. *See United States v. Cole*, 617 F.2d 151 (5th Cir. 1980) (submitting a false excuse for being absent from work); *United States v. Mansaw*, 714 F.2d 785, 789 (8th Cir. 1983) (giving a false name); *United States v. Reid*, 634 F.2d 469, 473–74 (9th Cir. 1980) (giving false name, occupation, name of business, and purpose in information request to government).

In this case, the trial court acted properly in allowing counsel to ask Witness if he had lied about his job experience on his application. The facts suggest Witness's testimony was critical to establish that Plaintiff had removed a safety guard from the table saw. This testimony could be devastating to Plaintiff's claim. Consequently, this line of inquiry was relevant and probative of Witness's truthfulness and the court was reasonable in its decision to permit counsel to cross-examine Witness about his job application. FED. R. EVID. 608(b).

[NOTE: Admission into evidence of a *document* containing the falsehood might violate the extrinsic evidence rule (*see* Point Two), but questioning the witness about such a document does not. *See United States v. Jackson*, 882 F.2d 1444, 1448–49 (9th Cir. 1989); *Cole*, 617 F.2d at 154.]

Point Two (20–30%)

The trial court was within its discretion in excluding Exhibit 37 because Rule 608(b) forbids the use of extrinsic evidence to attack a witness's character for truthfulness.

Rule 608(b) expressly prohibits the use of extrinsic evidence to impeach a witness's character for truthfulness: "Specific instances of the conduct of a witness, for the purpose of attacking or supporting the witness's character for truthfulness . . . may not be proved by extrinsic evidence." FED. R. EVID. 608(b). Thus, although a witness may be cross-examined about a prior alleged lie, if he refuses to admit to lying, he may not be contradicted with extrinsic evidence. Rule 608(b) does not define "extrinsic evidence," and there is disagreement among federal courts and evidence scholars about the term's meaning. With respect to documents, one approach holds that a document is extrinsic evidence in all circumstances. The other, more lenient approach holds that a document is not extrinsic evidence if the witness being impeached can provide the foundation for admission of the document. *See Kevin C. McMunigal & Calvin W. Sharpe, Reforming Extrinsic Impeachment*, 33 CONN. L. REV. 363, 372–73 (2001) (concluding that a job application containing a lie would be extrinsic under the former approach, but not under the

latter); *United States v. Elliott*, 89 F.3d 1360, 1368 (8th Cir. 1996) (holding that the trial court did not abuse its discretion in excluding the résumé of a witness offered to impeach the witness under Rule 608(b) by showing a misrepresentation of educational and employment experience).

Thus, whether the Court should have admitted Exhibit 37 depends on which approach prevails in this jurisdiction.

[NOTE: An applicant should receive full credit if the applicant recognizes the extrinsic evidence issue.]

Point Three (15–25%)

Exhibit 37 was not admissible to refresh Witness’s recollection because Rule 612 permits only counsel for the opposing party to offer such a document into evidence.

Since the Court permitted cross-examination concerning Exhibit 37, it was proper to allow the cross-examiner to try to get Witness to change his denial of lying on the job application. The cross-examiner need not take the first answer a witness offers. *See Carter v. Hewitt*, 617 F.2d 961, 969–73 (3d Cir. 1980); *United States v. Ling*, 581 F.2d 1118, 1121 (4th Cir. 1978). The cross-examiner thus appropriately showed Exhibit 37 to Witness to refresh his recollection before asking him again whether he had lied.

However, when an otherwise inadmissible document is shown to a witness to refresh his recollection, the witness must read it to himself. It is improper to allow such a document to be read aloud to the jury, and it may be admitted as an exhibit only if offered by the lawyer who has not used the exhibit to refresh the recollection of the witness. *See* FED. R. EVID. 612; CHRISTOPHER B. MUELLER & LAIRD C. KIRKPATRICK, *FEDERAL EVIDENCE* § 6:96 (3d ed. 2007).

[NOTE: It may have been improper for the Court to permit Plaintiff’s Counsel to attempt to “refresh” Witness’s recollection, given that Witness did not testify to any lack of memory about what was said on the job application. However, Defense Counsel did not object to the attempt to refresh recollection, but only to the admission of the job application as an exhibit. Accordingly, only the admission of the exhibit is at issue.]

Point Four (10–20%)

The trial court properly excluded the testimony of Contractor because testimony by another witness represents extrinsic proof of the prior bad act and therefore is not admissible under Rule 608(b).

The trial court correctly refused to permit testimony from Contractor that Witness had claimed 12 years of experience on his job application. This testimony was relevant only to the witness’s credibility and clearly constituted extrinsic evidence. FED. R. EVID. 608(b); *see also United States v. Abel*, 469 U.S. 45, 55 (1984) (witness’s testimony about defendant’s gang membership was inadmissible extrinsic evidence of defendant’s veracity; however, evidence of gang membership was admissible to show defendant’s bias).

DECEDENTS' ESTATES II.I.1., 2., 3. & 7.

ANALYSIS

- Legal Problems:
- (1) Does a bequest of a specific number of shares of stock owned by Testator when the will was executed include other shares of the same stock acquired after the will was executed as a result of a stock dividend?
 - (2) Does a bequest of a specifically described home include another home acquired with the proceeds from the sale of the specifically described home?
 - (3) Does a bequest of a generically described automobile adeem when the automobile owned when the will was executed is traded for another automobile?
 - (4) Does Donna's disclaimer of the \$10,000 bequest result in that bequest passing to her daughter or to the residuary legatee?

DISCUSSION

Summary

In most jurisdictions today, Andy would be entitled to all 200 shares of XYZ stock. Ben might be entitled to the condo as replacement property. Carrie would be entitled to the blue automobile. The \$10,000 bequest to Donna would fail as a result of her disclaimer and would pass to Ed, as the residuary legatee. However, in jurisdictions that do not follow the modern approach, Andy would only be entitled to 100 shares of the XYZ stock and Ben would not be entitled to the condo because that request adeemed. Any property not passing to Andy, Ben, or Carrie passes to Ed, the residuary legatee.

Point One (20–30%)

Andy is entitled to the 200 shares of XYZ stock Testator owned at the time of death unless the jurisdiction does not follow the modern approach.

Historically, a bequest of stock owned by a testator when the testator's will was signed excluded subsequently acquired shares of the same stock acquired by the testator as the result of a stock dividend. *See, e.g., Hicks v. Kerr*, 104 A. 426 (Md. 1918). The rule was justified on the ground that, if the testator had wanted the legatee to take the later-acquired shares, the testator could have changed the will to take those additionally acquired shares into account. A contrary rule applied to shares acquired as a result of a stock split. *See, e.g., Bostwick v. Hurstel*, 304 N.E.2d 186 (Mass. 1973).

Today, stock dividends are typically treated like stock splits because, in each case, nothing of value has been distributed by the corporation to the shareholder. Additional shares of the same company, when acquired by stock split or stock dividend, are, from the shareholder's economic perspective, merely a change in form, not substance. *See* UNIF. PROBATE CODE (UPC) § 2-605 (a devise of stock owned by the testator when the will is executed includes such additional stock owned by the testator at death, whether acquired by a stock split or a stock dividend). Under the UPC or a like statute, Andy would be entitled to all 200 shares of XYZ stock owned by Testator at her death.

Point Two (20–30%)

In most states, the bequest of the home to Ben adeems. However, in some states Ben would be entitled to the substitute home.

Under common law, an ademption occurs when the subject matter of specific devise is not found in the probate estate at the time of the testator's death. *See* WILLIAM M. MCGOVERN & SHELDON F. KURTZ, *WILLS, TRUSTS AND ESTATES* 315–16 (3d ed. 2004). Here, Testator specifically bequeathed to Ben Testator's home located at 4 Cypress Garden. Since Testator did not own that home when she died, the bequest adeems. *Id.* at 316. As a result, the condo passes to Ed, the residuary legatee.

Under UPC § 2-606(a)(5) or a like statute, however, Ben would be entitled to Testator's condominium. This section provides that the devisee of specifically devised real estate is entitled to any "real property . . . owned by the testator at death which the testator acquired as a replacement for specifically devised real property" The facts support the conclusion that Testator purchased the condominium as a replacement home for the home that was specifically devised to Ben.

The "replacement property" concept appears to have little support in case law. However, RESTATEMENT (THIRD) OF PROPERTY (WILLS AND OTHER DONATIVE TRANSFERS) § 5.2, cmt. d urges that the provision of the UPC should be applied by courts in those cases "in which the result appears to be consistent with the testator's intent."

Point Three (20–30%)

Carrie is entitled to the blue automobile.

Because of the time-honored rule of construction that a will "speaks" at the time of death, a bequest of generically described property (e.g., my automobile) applies to property that meets the generic description at the testator's death. *See generally* MCGOVERN & KURTZ, *supra*, at 316; RESTATEMENT (THIRD) OF PROPERTY (WILLS AND OTHER DONATIVE TRANSFERS) § 5.2, cmt. e. Thus, the bequest of the automobile is unlike the bequest of the home in that the latter, but not the former, is described in a non-generic manner and thus is subject to the rules of ademption.

[NOTE: At first blush an examinee might think that the bequest of the automobile raises an ademption problem because the automobile owned when the will was signed (the white

automobile) was not the same as the automobile owned when Testator died (the blue automobile). However, this is not an ademption problem because Testator did not refer to a specific automobile when executing her will. Also, an examinee might analyze this under the doctrine of independent significance and get to the same result.]

Point Four (20–30%)

The \$10,000 bequest to Donna fails because of Donna’s disclaimer and because Donna is not the type of legatee typically described in an anti-lapse statute. The bequest passes to Ed, the residuary legatee.

If Donna had not disclaimed the \$10,000 legacy, it would have passed to her under the provisions of Testator’s will. However, she did disclaim the bequest. Under the typical disclaimer statute, if a legatee disclaims a general bequest, the bequest passes as if the disclaimant had predeceased the testator. *See generally* UPC §§ 2-1106, 2-901(d).

When a disclaimant is deemed to have predeceased the testator, the question arises whether the bequest to that disclaimant passes to her issue. The answer here depends upon the application of the anti-lapse statute. The typical anti-lapse statute would not apply here because Donna was a friend, not a relative, of Testator. *See generally* UPC § 2-603 (anti-lapse statute applicable to legatee who was a grandparent or issue of grandparent of the testator). If the anti-lapse statute is inapplicable, then the \$10,000 passes to Ed as the residuary legatee.

[NOTE: If the anti-lapse statute did apply, as it might in a distinct minority of states, then the bequest to Donna would pass to Donna’s daughter. However, given how few states have adopted this view, an examinee who merely said that Donna’s disclaimed bequest passed to her issue should receive little or no credit unless that is the rule in the applicant’s state.]

REAL PROPERTY I.B.; III.D.1.; IV.B.2; V.D.2.

ANALYSIS

- Legal Problems:
- (1) Does a deed conveying property “jointly in fee” to two daughters “equally, to share and share alike” create a tenancy in common or a joint tenancy with right of survivorship in the daughters?
 - (2) Assuming a joint tenancy with right of survivorship was created in the two daughters, was it severed when one of the two joint tenants granted a mortgage on, and entered into a contract for the sale of, the farm?
 - (3) Is a buyer subject to a prior recorded mortgage when the buyer has no actual notice of the mortgage and the previous deed in the chain of title to the seller was unrecorded?
 - (4) Does a deceased seller’s interest in the proceeds of sale due under an executory real estate contract pass to the beneficiary of the real or personal property under the deceased seller’s will?

DISCUSSION

Summary

The language in Parent’s deed to Jessie and Karen probably is sufficient to overcome the statutory presumption that a conveyance to two or more persons creates a tenancy in common. Thus, Jessie and Karen probably became joint tenants in the farm. At Jessie’s death her interest would terminate and Karen would own the farm in fee unless prior to her death Jessie severed the joint tenancy.

Whether the mortgage to Credit Union, executed only by Jessie, severs the joint tenancy depends upon whether the farm is located in a lien- or title-theory jurisdiction. However, even if the farm is located in a lien-theory jurisdiction where a mortgage would not sever the joint tenancy, when Jessie entered into a contract to sell Buyer her interest in the farm, she likely severed the joint tenancy and converted it into a tenancy in common. Thus, once the executor deeded Jessie’s interest to Buyer, Karen and Buyer owned the farm as tenants in common.

Credit Union also has a mortgage on one-half of the farm. Because Credit Union recorded the mortgage before Buyer entered into the contract to purchase Jessie’s interest, Buyer had constructive notice from the record of Credit Union’s interest created by Jessie and takes subject to that mortgage even though the deed to Jessie was not recorded.

Because of the doctrine of equitable conversion, Jessie's interest in the farm at her death is characterized as personalty and passes to Legatee under Jessie's will.

Point One (20–30%)

Parent's deed of gift to Jessie and Karen created a tenancy in common unless the language in the deed overcame the statutory presumption that a conveyance to two or more persons creates a tenancy in common. Whether or not it does here is a close question. While the word "jointly" itself may not overcome the presumption, when used in conjunction with the phrase "share and share alike," it might.

A deed to two or more grantees may create a joint tenancy or a tenancy in common. To create a joint tenancy, the common law traditionally required the existence of four unities (time, title, interest, and possession). *See* WILLIAM B. STOEBUCK & DALE A. WHITMAN, *THE LAW OF PROPERTY* 182–83 (3d ed. 2000). Under the four-unities test, a joint tenancy presumptively is created by a conveyance to two or more persons if they acquire their interest at the same time, acquire their interest under the same instrument, acquire an equal interest in the property, and acquire the right to possession of the property.

The four unities are satisfied by Parent's deed to the daughters, so at common law they clearly took title as joint tenants with right of survivorship. With a joint tenancy, each joint tenant has the right of survivorship.

Today, in most states, there is a statutory presumption that a conveyance to two or more persons creates a tenancy in common rather than a joint tenancy. *See generally* SHELDON F. KURTZ, MOYNIHAN'S INTRODUCTION TO THE LAW OF REAL PROPERTY 282 (4th ed. 2005). Thus, if the presumption is not rebutted, Jessie and Karen took as tenants in common. Tenants in common have no right of survivorship.

The standard way to overcome the presumption favoring a tenancy in common is for the deed to use the term "joint tenancy" or "joint tenants," usually also adding an express reference to "survivorship" or "survivors," *id.* at 275–77, and it can be argued that where such language is absent the statutory presumption is not rebutted.

Although survivorship language is missing in Parent's deed to Jessie and Karen, the language of the deed could still be construed to overcome the statutory presumption favoring a tenancy in common. For example, some cases hold that the word "jointly" standing alone rebuts the presumption favoring a tenancy in common, although there are contrary cases holding that a grantor who uses the word "jointly" in the deed may intend that the grantees "own together" rather than that they own as joint tenants with the right of survivorship. *STOEBUCK & WHITMAN, supra*, at 185–86. Here, however, Parent's deed not only used the word "jointly" but added the phrase "equally, to share and share alike." This phrase, in common with the word "jointly," may point toward a joint tenancy as it evidences an intent by Parent to give each daughter an equal interest in the farm, another hallmark of a joint tenancy but not essential for a tenancy in common. This additional phrase also reflects the historic conception that joint tenants hold as a unit rather than as separate individuals. *See id.* at 184.

[NOTE: This is a close question, and applicants should receive equal credit for reasoned analyses that consider the possibilities, whether they conclude that the deed creates a tenancy in common or a joint tenancy. However, an applicant's conclusion should not affect the rest of the analysis because the remaining calls assume Jessie and Karen took from Parent as joint tenants with right of survivorship.]

Lastly, a deed is effective between the parties even if it is not recorded. *Id.* at 872. Thus, the daughters acquired a tenancy in common or a joint tenancy, notwithstanding their failure to record their deed of gift.

Point Two (25–35%)

If the deed of gift created a joint tenancy, Jessie's mortgage severed that joint tenancy as to her one-half interest if the state follows the "title theory" instead of the "lien theory" of mortgages. In any event, Jessie's contract of sale severed the joint tenancy. Therefore, Karen had no right of survivorship and the deed from the executor to Buyer caused Karen and Buyer to acquire a title to the farm as tenants in common.

When property is held by two persons in joint tenancy, a conveyance by one joint tenant of her entire ownership interest severs the joint tenancy as to the conveyed share. This is because the conveyance severs at least the unities of time and title between the remaining co-tenant and the new co-tenant. *See Jackson v. O'Connell*, 177 N.E.2d 194, 194–95 (Ill. 1961); KURTZ, *supra*, at 278–79.

When, as here, a joint tenant transfers a lesser interest, such as a mortgage, a severance of the joint tenancy may also occur. Courts usually resolve the issue by trying to decide whether the transfer destroyed any of the four unities.

In the case of mortgages, some states follow the "title theory," which says that the mortgagee takes title to the property for the duration of the mortgage. In "title theory" states, a mortgage granted by one joint tenant severs the joint tenancy as to the conveyed share. This would convert the joint tenancy into a tenancy in common. Other states follow the "lien theory" of mortgages, which says that the mortgagor retains title and the mortgagee takes only a lien on the property. This would leave the four unities intact, and thus Jessie would remain a joint tenant with her sister. *See People v. Nogarr*, 330 P.2d 858 (Cal. Ct. App. 1958); KURTZ, *supra*, at 279; STOEBUCK & WHITMAN, *supra*, at 184–85, 191.

If Jessie's grant of the mortgage did not sever the joint tenancy, her contract to sell her interest in the farm to Buyer almost certainly had that effect. *See STOEBUCK & WHITMAN, supra*, at 190–91; 2 A. JAMES CASNER, AMERICAN LAW OF PROPERTY § 6.2, at 11 (1952); Annotation, *What Acts by One or More of Joint Tenants Will Sever or Terminate the Tenancy*, 64 A.L.R.2d 918, 935–36 (1959). Although Jessie retained legal title until the contract closed, under the four unities analysis she no longer had the same interest as her sister. This follows from the doctrine of equitable conversion (discussed in Point Four below) because her interest (but not Karen's interest) is now subject to Buyer's equitable interest or title. Because the joint tenancy was

severed, Karen had no right of survivorship and, therefore, did not become the sole owner of the farm at Jessie's death.

[NOTE: Many applicants may not address the distinction between the title- and lien-theory jurisdictions and should not be penalized for failing to do so. What is important is that applicants recognize the legal issue and come to a resolution. Furthermore, without regard to the mortgage, applicants should address the effect of the contract with Buyer. Also, if a jurisdiction does not recognize the doctrine of equitable conversion, the execution of the contract would not sever the joint tenancy.]

Since the joint tenancy was severed, the deed from the executor to Buyer caused Karen and Buyer to hold the farm as tenants in common.

Point Three (20–30%)

Buyer cannot qualify as a bona fide purchaser because Buyer had constructive notice of Credit Union's recorded mortgage. The failure to record the deed of gift from Parent to Jessie and Karen should not impair the mortgage because the non-recording of that deed would not interfere with Buyer's ability to find the mortgage during a title search. Thus, Buyer takes the farm subject to Credit Union's interest.

Assuming Buyer acquired an interest from Jessie, Buyer may claim to be a bona fide purchaser, who should take free of Credit Union's mortgage. To qualify as a bona fide purchaser, a person must (i) pay value for an interest and (ii) not have actual, inquiry, or constructive notice of the competing prior-in-time interest. *See* STOEBOCK & WHITMAN, *supra*, at 879–83.

Although Buyer paid value, *see id.* at 879–80, and lacked actual notice of the mortgage, Buyer had constructive notice of the mortgage because the mortgage was properly recorded before Buyer entered into the contract to buy Jessie's interest. Had Buyer made a proper title search by looking in the grantor-grantee index for all of Jessie's transactions as a grantor, the mortgage would have been discovered. Therefore, Buyer takes subject to Credit Union's interest.

[NOTE: The mortgage is not a “wild deed” that could be deemed unrecorded because it is outside of the buyer's chain of title or recorded out of sequence (too early or too late). Since the facts state that the grantor-grantee index operates in this jurisdiction, if Buyer had searched under Jessie's name as grantor, Buyer would have found her mortgage to Credit Union. In the typical wild deed case, the prior interest outside of the chain of title is created by someone other than the buyer's grantor.]

[NOTE: As an aside, Buyer's search would also reveal the fact that Jessie and her sister lacked record title because they never recorded the deed of gift from Parent. However, here that would not be a title objection because Buyer agreed to accept a title that was not marketable.]

Point Four (15–25%)

When Jessie entered into the contract of sale, the doctrine of equitable conversion transformed her interest into personalty. As a result, Devisee acquired no interest in the farm under Jessie's will. Rather, the sales proceeds pass to Legatee.

The doctrine of equitable conversion splits title to the property when a real estate contract is signed. Buyer obtained equitable title, and Jessie as seller retained legal title as trustee to secure payment of the remainder of the purchase price. *See* STOEBUCK & WHITMAN, *supra*, at 786–87. Equitable conversion only applies to a contract that is specifically enforceable; here there are no facts suggesting that Jessie or Buyer would be unable to obtain specific performance. Buyer cannot reject title because of the outstanding mortgage as Buyer agreed to accept a title without any warranties and regardless of its marketability. When equitable conversion applies, the seller's legal title is considered personal property, and the buyer's equitable title is considered real property. *Id.* When Jessie died, her share passed to Legatee, who took personal property under Jessie's will.

[NOTE: The preceding analysis depends upon Jessie's share prior to her death being classified as a tenancy in common because (1) the mortgage severed Jessie's joint tenancy share, or (2) the contract of sale to Buyer severed Jessie's joint tenancy share. If, on the other hand, Jessie died still owning a one-half interest as joint tenant, no part of the farm or its proceeds passed to Legatee or Devisee under Jessie's will. Rather, by right of survivorship, Karen owned the entire farm free and clear of the rights of Credit Union and Buyer because their interests, being wholly derivative from Jessie, would also expire at Jessie's death. *See* KURTZ, *supra*, at 279; STOEBUCK & WHITMAN, *supra*, at 191.]

FEDERAL CIVIL PROCEDURE I.D.; II.A.; CONFLICT OF LAWS III.B., C.1.

ANALYSIS

- Legal Problems:
- (1)(a) Do the Federal Rules of Civil Procedure permit a federal district court to authorize service of process on a foreign defendant by e-mail?
 - (1)(b) Is e-mail service of process constitutional under the circumstances of this case?
 - (2)(a) Which jurisdiction's choice-of-law rules should be used to select the applicable unfair-competition law?
 - (2)(b) Under the "most significant relationship" test, what factors govern the choice among State A, Country X, and State B unfair-competition law?

DISCUSSION

Summary

Absent a governing international agreement, the district court has authority to order service of process by e-mail so long as the service is reasonably calculated to give notice to Copyco of the suit. Once it obtains jurisdiction over Copyco, the court should use State A's "most significant relationship" approach to determine the proper law to apply to the unfair-competition claim. The proper choice of law depends on several factors, including the policies underlying the competing laws. Here, given the many connections of the case to State A, it is likely that a court sitting in State A would apply State A law.

Point One(a) (20–30%)

Rule 4 of the Federal Rules of Civil Procedure permits service of process on a foreign corporation outside of the United States by any means directed by the court as long as it is not prohibited by international agreement.

In a proper case, a federal court has the power to permit a plaintiff to serve a foreign corporate defendant by e-mail. Rule 4 authorizes service of process upon a corporation outside the United States "in any manner prescribed by Rule 4(f) for serving an individual, except personal delivery" FED. R. CIV. P. 4(h)(2). Subdivision (f) of Rule 4, in turn, permits service in places outside the United States by a variety of methods, including means of service allowed by international agreement, by foreign law, and by general international practice. Importantly, subdivision (f) gives the district court broad authority to direct service by any "means not prohibited by international agreement." FED. R. CIV. P. 4(f)(3). In other words, the court can authorize any

method of making service of process abroad, including e-mail, in its discretion, if no international agreement prohibits it. Moreover, the court's authority to direct non-traditional means of service "is neither a 'last resort' nor 'extraordinary relief,'" *Rio Props., Inc. v. Rio Int'l Interlink*, 284 F.3d 1007, 1015 (9th Cir. 2002); it is simply one of the tools the court has to ensure that procedural matters are handled sensibly and fairly.

On the facts of this case, it is likely that e-mail service of process would be approved by the court. First, the facts state that there are no applicable international treaties, so the court's power to direct any "means" of service, including e-mail, is not limited by international agreement. Second, this seems like a perfect case for e-mail: the defendant's street address cannot be ascertained, and the defendant's business conduct evinces a preference for communication through the Internet. It would seem that service by e-mail would be convenient for the defendant and reasonably calculated to give the defendant notice of the action. It would, moreover, prevent the significant hardship to the plaintiff that might result if the plaintiff were required to find other means to track down and serve this elusive corporate defendant. For these reasons, the court is likely to authorize e-mail service in this situation. For other recent cases authorizing e-mail service under such circumstances, see *Philip Morris USA Inc. v. Veles Ltd.*, 2007 WL 725412 (SDNY 2007); *Export-Import Bank of the U.S. v. Asia Pulp and Paper Co.*, 2005 WL 1123755 (SDNY 2005); *Williams v. Adver. Sex LLC*, 231 F.R.D. 483 (N.D. W.Va. 2005); *In re Int'l Telemedia Assoc., Inc.*, 245 B.R. 713, 719 (Bank. N.D. Ga. 2000).

Point One(b) (20–30%)

Service by e-mail is constitutional where it is reasonably calculated to give notice.

Even if permitted by the Federal Rules of Civil Procedure, a method of service of process cannot be employed if it would violate the United States Constitution. The due process clause guarantees litigants "notice reasonably calculated, under all the circumstances, to apprise interested parties of the pendency of the action and afford them an opportunity to present their objections. . . . The means employed must be such as one desirous of actually informing the absentee might reasonably adopt to accomplish it." *Mullane v. Central Hanover Bank & Trust Co.*, 339 U.S. 306, 314–15 (1950). Service by e-mail is reasonably calculated to reach Copyco, which lists its e-mail address on its website but does not list a street address or post office box. In fact, in these circumstances, service by e-mail may be the method of service most likely to reach Copyco. Since service via e-mail is reasonably calculated to reach Copyco, it comports with due process.

Point Two(a) (20–30%)

A federal court exercising diversity jurisdiction over non-federal claims must apply the choice-of-law rule of the state in which it sits.

In *Klaxon Co. v. Stentor Electric Manufacturing Co.*, 313 U.S. 487 (1941), the Supreme Court of the United States held that a federal district court sitting in diversity must apply the choice-of-law approach prevailing in the state in which it sits. The *Klaxon* rule is designed to ensure that a federal court sitting in diversity and the state court sitting next door would reach the same result

if presented with the same case. If federal courts were free to craft their own choice-of-law rules, then the federal court might choose a different jurisdiction's substantive law to govern the dispute than the state court would, and the goals of uniformity and equal administration of justice would be frustrated. *Id.* at 496–97. Thus, the federal district court sitting in State A should apply the choice-of-law approach followed by the courts of State A. The facts indicate that State A applies the Second Restatement of Conflict of Laws.

Point Two(b) (20–30%)

Because the federal court will apply State A's choice-of-law rule, the Restatement (Second) of Conflict of Laws (the methodology employed by State A) applies here. Under the Second Restatement's approach, issues in tort are governed by the law of the state that has the most significant relationship to the occurrence and the parties.

Unfair competition is a tort claim governed by § 145 of the Restatement (Second) of Conflict of Laws (cmts. e & f (1971)). Section 145 states that “the rights and liabilities of the parties with respect to an issue in tort are determined by the local law of the state which, with respect to that issue, has the most significant relationship to the occurrence and the parties under the principles stated in § 6.” *Id.* § 145(1). Section 145 lists four contacts to be considered in performing this analysis: “(a) the place where the injury occurred, (b) the place where the conduct causing the injury occurred, (c) the . . . place of incorporation, and place of business of the parties, and (d) the place where the relationship, if any, between the parties is centered. These contacts are to be evaluated according to their relative importance with respect to the particular issue.” *Id.* § 145(2).

Here, an evaluation of the § 145 contacts reveals that a number of jurisdictions have important connections to the parties and the transaction. First, Bearco's injury—the loss of customers who bought Copyco's knockoff “Griz” bears—occurred in all 50 states and would have been felt most acutely in State A (where Bearco maintains its corporate and administrative offices) and State B (where Bearco's factories are located). Copyco's conduct occurred both in Country X, where it manufactured the knockoff bears, and also in all 50 states, where it sold bears in competition with Bearco. The two companies are incorporated in different locations, State A (Bearco) and Country X (Copyco), and their places of business are likewise in different locales.

Where the contacts are so thoroughly split among so many jurisdictions, courts applying the Second Restatement will pay special attention to the principles for making choice-of-law decisions as stated in § 6 of the Restatement. In a tort case like this one, a court will ordinarily focus its attention on the policies of the laws that are in conflict and, in particular, on any interest of its own state in having its policies apply to the case. *Id.* at § 6(2)(b) & (c).

Here it is likely that the purpose of State A's unfair-competition law is to protect businesses from the economic harm caused by the kind of unfair competition involved in this case. Given that Bearco is a local business, incorporated and headquartered in State A, and that the injury from Copyco's unfair competition will be felt in State A, State A would certainly have an interest in seeing its policy applied to force Copyco to compensate Bearco. On the other hand, Country X would be interested in seeing its law apply to protect Copyco if the policy behind Country X's

failure to regulate unfair competition is intended to facilitate competition by its companies and to encourage their manufacturing operations in Country X.

Here, a federal court sitting in State A is likely to conclude that State A has the “most significant relationship” to the case. In a situation of conflict between local and foreign law, where both the local and foreign jurisdictions’ policies would be furthered by applying their law, most courts will apply local law and further local policies unless there is a strong reason not to do so. There is nothing unfair in subjecting Copyco to State A law where its activities were directed in part at customers in State A, it injured a State A corporation, and it was foreseeable that it could be subject to State A law on account of its activities. The federal court will likely apply State A’s unfair-competition law.

[NOTE: An applicant’s conclusion is less important than his or her ability to state and use the relevant principles of the Restatement (Second) of Conflict of Laws. Applicants are expected to know that the federal court will apply State A’s choice-of-law methodology to choose the law governing the supplemental state claim and that the Second Restatement requires application of the law of the state with the most significant relationship to the parties and the occurrence. They should also know that the Second Restatement requires consideration of a variety of personal and territorial factors and an analysis of the policies underlying the laws competing for application. Applicants are not expected to recall specific Restatement sections or comments, nor are applicants expected to reach the same results as the model analysis.]

NEGOTIABLE INSTRUMENTS (COMMERCIAL PAPER) IV.A.; V.A., C., H.; VI.

ANALYSIS

- Legal Problems:
- (1) Is a person in possession of a check that has been transferred by means of a forged indorsement entitled to enforce the check against the payee whose signature was forged?
 - (2) Is a person in possession of a check that has been transferred by means of a forged indorsement entitled to enforce the check against the drawer of the check?
 - (3) Is a person in possession of a check that has been transferred by means of a forged indorsement entitled to enforce the check against the drawee bank?
 - (4) Is a person in possession of a check that has been transferred by means of a forged indorsement entitled to enforce the check against the forger from whom he received the check?

DISCUSSION

[NOTE: Although a bank is involved in the fact pattern, this question does not raise any questions under UCC Article 4. When Seller tried to present the check payable to Payee for payment over the counter, Bank did not pay it or accept it for collection, so there are no Article 4 issues raised by these facts. Article 4 is not included in the negotiable instruments specifications for the MEE, and references to UCC Article 4 in answers to this question are unnecessary.]

Summary

Even though Seller acted in good faith and gave value in exchange for Payee's check, Seller has no rights against Payee because Payee never signed the check and is therefore not liable on it. Furthermore, the lack of a valid indorsement of the check by Payee means that Seller cannot be a holder of the check and is therefore not entitled to enforce it against Drawer or Bank. Moreover, Bank would not be liable to Seller in any event, as a drawee is not liable to the payee or holder of a check (draft) unless it has accepted it. Accordingly, Seller's only recourse will be against Thief on a theory of breach of transfer warranty or on Thief's indorser's contract.

Point One: (20–30%)

Seller cannot recover from Payee because Payee is not liable on the instrument. Thief's forgery of Payee's signature is not effective as an indorser's signature because Payee was not negligent, and Thief is not Payee's agent.

UCC § 3-401(a) provides that a person is not liable on an instrument unless that person signed the instrument or that person's agent or representative signed the instrument. Payee did not sign the instrument and Thief is not Payee's agent or representative, so his forgery of her signature is not effective as her signature. An exception to this general rule is found in UCC § 3-406, which provides that if a person's failure to exercise ordinary care substantially contributes to the making of a forged signature, then that person will be precluded from asserting the fact of the forgery to avoid liability. Nothing in the facts suggests that Payee was negligent, so this exception does not apply.

Point Two: (30–40%)

The check is payable to Payee, so without Payee's indorsement, Thief is not a holder of the instrument; when Thief transferred the check to Seller, Seller acquired only the rights that Thief had and so is not entitled to enforce the instrument.

When a negotiable instrument has been dishonored, a "person entitled to enforce the [instrument]" ordinarily may bring an action to enforce the instrument against the drawer of the instrument. UCC § 3-414(b). In this case, however, Seller has no legal right to enforce the instrument against Drawer because Seller is not a person entitled to enforce the instrument.

The check Drawer wrote was originally payable to Payee and was therefore "order paper." *See* UCC § 3-109. Until Payee indorses the check, Payee is the only person who can be a holder of the instrument. UCC § 1-201(b)(21)(A). When Thief acquired the check as a result of stealing Payee's handbag, he did not become a holder in his own right because Payee had not indorsed the check. Thief also did not acquire any of Payee's rights as a holder because Payee did not deliver the check to Thief for the purpose of giving Thief a right to enforce it. *See* UCC § 3-203(a) & (b). Thus, Thief was neither a holder of the check nor a person with the rights of a holder, and Thief was not entitled to enforce the check. *See* UCC § 3-301.

When Thief transferred the check to Seller, Seller did not become a holder because, as noted earlier, the forged indorsement of the check was ineffective and the check remained payable to Payee. Seller did receive all the rights Thief had in the check, but Thief had no right to enforce the check. In short, Seller is not a person entitled to enforce the check and therefore has no claim against Drawer.

[NOTE: Some examinees might also note that Seller's attempt to cash the check was not a presentment because he was not a person entitled to enforce. UCC §§ 3-301, 3-501. Since dishonor of a check is a condition precedent to the drawer's liability on a check, UCC § 3-414(b), and presentment is a condition precedent to dishonor, Seller also cannot recover from Drawer because the check has not yet been dishonored.]

Point Three (10–20%)

Bank is not liable to Seller on the check both because Seller is not entitled to enforce the check and because a drawee bank is not liable, even to a holder, on an uncertified personal check.

Bank is not under any obligation to the holder to pay a check that it has not already accepted (certified), so Seller could not recover from Bank even if it had wrongly dishonored the check because a drawee bank is not liable on an unaccepted draft. *See* UCC § 3-408. Moreover, Seller was not a holder and not entitled to enforce the check, so it was entirely proper for Bank to refuse to pay.

Point Four: (30–40%)

Seller is entitled to recover the amount of the check from Thief because Thief breached the transfer warranties that Thief is entitled to enforce the instrument and that all signatures are genuine.

A person who transfers an instrument for consideration makes certain standard warranties to the transferee of the instrument. In particular, the transferor warrants that he is entitled to enforce the instrument and that all signatures on the instrument are authorized and authentic. UCC § 3-416(a).

When Thief transferred the check to Seller in exchange for the car, Thief breached these transfer warranties. Thief was not a person entitled to enforce the instrument, and the forged Payee signature was neither genuine nor authorized. Seller took the instrument in good faith and so is entitled to recover the amount of the check from Thief for breach of these warranties. UCC § 3-416(b).

[NOTE: Seller arguably has a contract claim against Thief. Thief's forgery of Payee's signature is effective as Thief's own signature, UCC § 3-403(a), with respect to a person, like Seller, who takes the instrument for value. So as to Seller, Thief is an indorser of the check (even though he indorsed in Payee's name) and owes Seller an indorser's obligation. *See* UCC § 3-415(a). When Bank refused to pay the instrument, that refusal arguably triggered Thief's liability as an indorser.

There are difficulties with that analysis, however. First, only a person entitled to enforce the instrument can bring a claim against an indorser, and Seller is not entitled to enforce. Second, dishonor is a condition precedent to the indorser's liability on a check, UCC § 3-415(a), and (as noted earlier) the check has not yet been dishonored. Consequently, examinees who mention Thief's indorser's liability might receive some credit, but only if they also discuss the more likely basis for Thief's liability to Seller, that is, breach of transfer warranties.]

TORTS II.A., B., D.1., E.1.

ANALYSIS

- Legal Problems:
- (1) Does Nephew have a cause of action against Tenant for negligence?
 - (2) What is the standard of care applicable to Nephew?
 - (3) Will Nephew's negligence prevent Nephew from recovering damages from Tenant or Landlord?
 - (4) Did Landlord's violation of a state statute requiring that every part of a building be kept "in good repair" represent negligence *per se*?
 - (5) Was Landlord's failure to repair the furnace a proximate cause of Nephew's injuries?

DISCUSSION

Summary

The jury could award Nephew damages in his action against Tenant. In a negligence action, an adult defendant's conduct is measured against that of a reasonable, prudent person engaged in a similar activity; a minor's conduct is measured against that of a minor of like age, intelligence, and experience. The determination of whether a party's conduct conforms to the applicable standard of care is a question of fact that is normally left to the jury. Here the jury could conclude that Tenant was negligent and that his negligence was the cause in fact and proximate cause of Nephew's injuries. Even if the jury also concluded that Nephew was negligent, under modern comparative negligence rules Nephew could still recover from Tenant.

It is less clear that the jury could award Nephew damages in his action against Landlord. Although violation of a state statute is normally considered negligence *per se*, it is unclear that the injuries Nephew suffered were within the category of harms the legislature aimed to prevent when enacting the statute. It is equally unclear whether Landlord's failure to repair the furnace was a proximate cause of the injuries.

Point One: (15–25%)

A reasonable jury could conclude that Tenant was negligent and that his negligence caused Nephew's injuries.

In any negligence action, a plaintiff must show that the defendant owed the plaintiff a duty to conform his conduct to a standard necessary to avoid an unreasonable risk of harm to others, that

the defendant's conduct fell below the applicable standard of care, and that the defendant's conduct was both the cause in fact and the proximate cause of his injuries.

Nephew would have no difficulty in establishing that Tenant owed him a duty of care. Nephew was Tenant's household guest whose presence was known to Tenant. Thus, Tenant owed Nephew an obligation to exercise reasonable care to avoid foreseeable risks. *See* RICHARD A. EPSTEIN, *CASES AND MATERIALS ON TORTS* 154–55 (7th ed. 2000).

In determining whether Tenant's conduct fell below the standard of care, the jury would measure that conduct against the conduct of a reasonable, prudent person engaged in a like activity. A reasonable, prudent person takes precautions to avoid foreseeable risks. *See id.* at 162–63. A large pot of boiling water, if it spills, clearly poses a foreseeable risk of serious burns. A jury might also conclude that it was foreseeable that someone would come out of the bedroom quickly and collide with the boiling water. The burden of taking precautions to avert this possibility was small; Tenant could have yelled, "I'm coming with a pot of boiling water," or closed the bedroom door. Given the foreseeability of serious harm and the small burden of taking precautions, a jury might conclude that Tenant was negligent.

Tenant's conduct also was the cause in fact and proximate cause of the injuries. Tenant's failure to take precautions appears to have been a substantial factor in producing the accident. Burns were a foreseeable result of collision with a pot containing boiling water. Thus, based on the facts, a jury could properly award damages to Nephew.

Point Two: (15–25%)

Although Nephew's age makes it unlikely, a jury could find that Nephew was negligent and that Nephew's negligence was a contributing factor in causing his injuries.

Nephew, like Tenant, had a duty to prevent foreseeable risks to himself and others. In judging whether Nephew exercised reasonable care under the circumstances, the jury would measure Nephew's conduct against that of a minor of like age, intelligence, and experience. *See* RESTATEMENT (SECOND) OF TORTS §§ 283, 283A (1965); *Roberts v. Ring*, 173 N.W. 437 (Minn. 1919). A few jurisdictions apply the so-called "tender years doctrine," under which a minor of less than seven years of age cannot be found negligent, but Nephew was age eight when the accident occurred.

Nephew chased a ball into the hall without looking or calling out. To an adult, this conduct would create a foreseeable risk of collision with someone walking in the hall. Age is the key factor here. A normal toddler does not foresee risks, particularly when engaged in an activity like chasing a ball; a normal adolescent does foresee such risks. Nephew, age eight, falls between a toddler and an adolescent. Therefore, it is possible, but not likely, that a jury would find that Nephew's conduct was negligent.

Point Three: (10–20%)

Even if the jury found that Nephew was negligent in running into the hall, under modern

comparative negligence rules, Nephew's negligence would reduce his recovery from Tenant but would not eliminate Tenant's liability.

At common law, if the jury found the plaintiff's negligence to be a cause in fact and proximate cause of his injuries, the plaintiff could not recover from the defendant. This all-or-nothing approach was frequently criticized; it has now been abandoned by virtually all states. *See EPSTEIN, supra*, at 369.

Under the modern "comparative negligence" approach, if the jury finds that two or more parties are negligent, it apportions fault between them. The plaintiff's fault share is subtracted from the total damages awarded by the jury. Thus, even if the jury found Nephew to be negligent, that finding would reduce his recovery from Tenant but would not eliminate Tenant's liability, except in a state that has preserved the all-or-nothing approach to contributory negligence or in a comparative negligence state where recovery is barred if the victim was more than 50 percent negligent.

Point Four: (15–25%)

The unexcused violation of a statutory standard is negligence *per se* if the statute was designed to protect against the type of accident the actor's conduct caused and the injured party is within the class of persons the statute was designed to protect. Under this standard, it is unclear whether Landlord's conduct constituted negligence *per se*.

The governing state statute requires that "every apartment building . . . and every part thereof shall be kept in good repair." Arguably, Landlord violated the statute, as the furnace was "part" of the "apartment building" owned by Landlord, and it malfunctioned on three different occasions before Landlord took steps to correct the problem permanently. "An actor is negligent if, without excuse, the actor violates a statute that is designed to protect against the type of accident the actor's conduct causes, and if the accident victim is within the class of persons the statute is designed to protect." RESTATEMENT (THIRD) OF TORTS § 14 (P.F.D. NO. 1 2005). In such a case, the jury is *required* to find that the actor is negligent.

Landlord's failure to permanently fix the furnace was unexcused. On three earlier occasions, he was given notice of problems with the furnace but made only temporary repairs. Nephew, as the guest of a tenant, is within the class of persons the statute is designed to protect. Loss of heat and hot water is certainly among the types of harms the statute was designed to protect against. However, it is not clear that the accident which occurred—burns due to a collision—was within the category of harms the statute was designed to protect against. *See EPSTEIN, supra*, at 259–60 (describing conflicting authority on whether statutes criminalizing the act of leaving a key in a car ignition are designed to protect against injuries caused by a car thief).

Point Five: (20–30%)

In a negligence action, a defendant is liable only if his conduct was the proximate cause of the plaintiff's injury. A reasonable jury could find that the type of harm Nephew suffered was too remote from Landlord's negligence in failing to provide adequate heat and hot water.

It is unclear whether Landlord's failure to repair the furnace was a proximate cause of Nephew's injuries. (Indeed, the "right type of harm" requirement for use of a statutory standard to establish negligence is probably just another way of stating the proximate cause requirement.) Even when the defendant is negligent, his conduct must have "such an effect in producing the harm as to lead reasonable men to regard it as a cause, using that word in the popular sense, in which there always lurks the idea of responsibility, rather than in the so-called 'philosophic sense,' which includes every one of the great number of events without which any happening would not have occurred." RESTATEMENT (SECOND) OF TORTS § 431, cmt. a.

Intervening actors or events that produce harm different in kind from that which one would normally anticipate from the defendant's negligence may break the chain of causation and lead a fact-finder to conclude that the defendant's acts are not the proximate cause of the plaintiff's injury. Thus, a defendant who negligently exceeds a speed limit and therefore happens to be on the spot where a tree falls during a violent windstorm is not liable for injuries caused by the tree (see *Berry v. Sugar Notch Borough*, 43 A. 240 (Pa. 1899)), and a defendant who negligently fails to stop a train at a station is not liable for the passenger's injuries when she elects to walk the mile back to the station along a dangerous route and is assaulted. See *Hines v. Garrett*, 108 S.E. 690 (Va. 1921). These harms are simply too remote from the defendant's negligent conduct.

On similar facts, courts have not agreed on whether a landlord's conduct was the proximate cause of a plaintiff's injury. Some courts have found that the landlord's negligence in failing to timely repair a furnace is too remote from burn injuries like Nephew's based on the intervening and arguably unforeseeable conduct of actors like Nephew and Tenant as well as the nature of the injuries, which are different in kind from those that would typically be produced by an inoperable heating system. Other courts have held that a jury might reasonably find heating hot water to be a foreseeable result of not having hot water and collisions from carrying hot water a foreseeable result of heating it. Compare *Martinez v. Lazaroff*, 399 N.E.2d 1148 (N.Y. 1979), with *Enis v. Ba-Call Bldg. Corp.*, 639 F.2d 359 (7th Cir. 1980). See generally Annotation, *Landlord and Tenant: Violation of Statute or Ordinance Requiring Landlord to Furnish Specified Facilities or Services as Ground of Liability for Injury Resulting from Tenant's Attempt to Deal with Deficiency*, 63 A.L.R.4th 883 (1988).

[NOTE: The applicant's conclusion on the proximate cause issue is less important than his or her analysis. The applicant should receive full credit if he or she recognizes and discusses the applicable legal principles.]

FAMILY LAW IV.A., B., E.1.; V.B., B.3.; VI.B.

ANALYSIS

- Legal Problems:
- (1) Did State A's assertion of personal jurisdiction over Dad to determine paternity and child support based on his sexual activity in State A more than 14 years earlier meet due process requirements?
 - (2) Will a court enforce an agreement between parents that relieves a parent of support duties in exchange for that parent relinquishing parental rights?
 - (3) Will a court base the support obligation of an unmarried father who has had no relationship with his child on public-assistance benefit levels?
 - (4) Will a court award custody or visitation of a 14-year-old child to a parent whom the child has never met and who lives in a different state from the child?

DISCUSSION

Summary

Because Dad's State A contacts that provide a statutory basis for long-arm jurisdiction are closely related to the nature of the claim against Dad and Dad has a continuing support obligation, State A's assertion of personal jurisdiction over Dad probably met the requirements of the Due Process Clause. The contract between Mom and Dad waiving Dad's child-support obligation is unenforceable. Dad's child-support obligation will be based on his earnings and income, not state public-assistance benefit levels. Dad is highly unlikely to succeed in obtaining custody of Child, but may obtain visitation.

Point One: (25–35%)

State A's assertion of personal jurisdiction over Dad probably met due process requirements because the nature of the claim—paternity and child support—is closely related to Dad's State A contacts, and Dad has a continuing obligation to support Child, a State A domiciliary.

The long-arm statute quoted in the fact pattern is § 201(6) of the Uniform Interstate Family Support Act (UIFSA), which has been adopted by all states. The Supreme Court of the United States has not ruled on the constitutionality of this provision.

The leading case on the due process requirements governing jurisdiction over a nonresident parent in a child-support action is *Kulko v. Superior Court*, 436 U.S. 84 (1978). In *Kulko*, the Supreme Court employed the “minimum contacts” test laid out in *International Shoe Co. v. Washington*, 326 U.S. 310, 316 (1945), and reversed a state-court ruling extending long-arm jurisdiction over a nonresident parent based on his “consent[] to the permanent residence of the . . . child” in the forum state. The *Kulko* court noted that due process demands “some act by which the defendant purposefully avails [him]self of the privilege of conducting activities within the forum state,” *Hanson v. Denckla*, 357 U.S. 235, 253 (1958), before the forum state may legitimately exercise long-arm jurisdiction. *Kulko*, 436 U.S. at 94. The Court also held that a father “who agrees, in the interests of family harmony and his children’s preferences, to allow them to spend more time in [the forum state] . . . than was required under a separation agreement can hardly be said to have ‘purposefully availed himself’ of the ‘benefits and protection’ of [the forum state’s] laws.” *Id.*

The long-arm statute at issue in this case does rely on purposeful activity, i.e., sexual intercourse. Although the Supreme Court has not ruled on the constitutionality of such a provision, state courts have found that statutes like this one meet due process requirements. *See, e.g., Poindexter v. Poindexter*, 594 N.W.2d 76 (Mich. Ct. App. 1999); *County of Humboldt v. Harris*, 254 Cal. Rptr. 49 (Cal. Ct. App. 1988); *Lake v. Butcher*, 679 P.2d 409 (Wash. Ct. App. 1984); *Larsen v. Scholl*, 296 N.W.2d 785 (Iowa 1980). These courts have relied on the voluntary nature of the conduct, the fact that the child’s birth could easily be anticipated, and the state’s strong interest in ensuring that the child is supported.

Dad might argue that the state’s assertion of jurisdiction in this case would violate due process standards given that more than 14 years have passed since the State A acts that serve as a jurisdictional basis. In making this argument, Dad might rely on *Kulko*, in which the Supreme Court stated that the forum state could not have relied on the defendant’s marriage during a three-day visit to the forum state 13 years before the support action was brought as a basis for jurisdiction. *See Kulko*, 436 U.S. at 93. But, in contrast to the marriage in *Kulko*, the sexual activity that serves as the jurisdictional basis in this case is directly related to the basis for asserting jurisdiction and Dad continues to have a support obligation to Child. It is thus likely that a court would find that the assertion of jurisdiction is constitutional. *See* UIFSA § 201 cmt. (“No time frame is stated for filing a proceeding; this is based on the fact that the absent parent has a support obligation that extends for at least the minority of the child (and often longer in many states).”). There are also state-court decisions exercising long-arm jurisdiction on similar facts. *See Dambakly v. Patire*, 754 N.Y.S.2d 308 (App. Div. 2003).

Point Two: (15–25%)

The agreement between Mom and Dad eliminating Dad’s child-support duty is inconsistent with the best interests of the child and is unenforceable.

Although the agreement between Mom and Dad appears to satisfy other basic contract law requirements, it is unenforceable. Courts have long held that parents may not enter into enforceable agreements that adversely affect the rights of their children; courts always retain authority to enter support and custody orders that are in the children’s best interests. *See* AM. LAW INST., PRINCIPLES

OF THE LAW OF FAMILY DISSOLUTION: ANALYSIS & RECOMMENDATIONS §§ 2.06, 3.13, 7.06 & comments (2002); HOMER H. CLARK, JR., THE LAW OF DOMESTIC RELATIONS IN THE UNITED STATES § 18.5 (2d ed. 1988). The agreement at issue in this case would eliminate the relationship between Dad and Child for the convenience of the parents; all courts would find that this conflicts with the child's interests in having two parents who can provide support and care.

Point Three: (20–30%)

The State A court will determine the value of Dad's child-support obligation to Child on the same basis that it would use to determine support for a child born to married parents. Because the court must consider, at a minimum, all of Dad's income and earnings, it will not base the value of a child-support award on state public-assistance benefit levels.

Federal legislation enacted during the 1980s requires all states, as a condition of federal funding, to employ numerical child-support guidelines and establish a rebuttable presumption that the award which would result from application of the guidelines is correct, *see* 42 U.S.C. § 667; the guidelines must be applied in all cases, regardless of the parents' marital status.

Although state guidelines vary considerably in the way support is calculated, none sets presumptive awards at a public-assistance level. Federal regulations require state support guidelines to "take into consideration all earnings and income of the noncustodial parent, . . . be based on specific descriptive and numeric criteria and result in a computation of the support obligation." 45 C.F.R. § 302.56.

Thus the State A court should determine the value of Dad's support obligation based on his income, not the value of state public-assistance benefits.

[NOTE: Support laws that disregard marital status may be constitutionally mandated. In *Gomez v. Perez*, 409 U.S. 535 (1973), the Supreme Court held that a state law which based the existence of a support obligation on the parents' marital status violated the Equal Protection Clause. *Gomez* has often been interpreted as forbidding marital-status variation in the *value* of support, although there are some state court opinions that have taken a contrary view. *See* AM. LAW INST., *supra*, § 3.01 Reporter's Notes.]

Point Four: (20–30%)

The State A court will determine custody and visitation based on Child's best interests. It will almost certainly award primary custody to Mom because Dad has had no prior relationship with Child, but it will likely award Dad visitation.

Custody and visitation disputes are governed by the court's determination of the child's best interests. *See* CLARK, *supra*, §19.1; AM. LAW INST., *supra*, § 2.02 & cmt. Residential and relational continuity are both widely recognized as important sources of child well-being. It is thus highly unlikely that a court would award custody to Dad, who lives at some distance from Child's current home and with whom Child has had no relationship whatsoever.

However, meaningful contact with both parents also is recognized as an important source of child well-being. It is thus extremely rare for a court to deny an adjudicated parent visitation, even when the parent and child have had no significant relationship. *See id.* The presumption in favor of visitation and the lack of any evidence in the fact pattern that visitation would be harmful to Child suggest that Dad's petition for visitation would be granted.

The court might nonetheless deny Dad's visitation petition if it finds that visitation is not in Child's best interests. This outcome is more likely if the court finds that the petition was brought in bad faith as a means of deterring Mom from proceeding with the paternity/support action and if Child strongly objects to visitation; because Child is 14, most states would require the court to consider Child's wishes in fashioning a visitation order. *See Family Law in the Fifty States 2003–2004*, 38 FAM. L. Q. 810, Chart 2 (custody criteria) (2005).

CORPORATIONS VI.A.

ANALYSIS

- Legal Problems:
- (1) Does the business judgment rule protect from liability a director who authorizes a transaction in which another director has a financial interest without obtaining full disclosure?
 - (2) Does the business judgment rule protect from liability a director who is interested in a transaction and who does not make full disclosure about that transaction?
 - (3) Does the approval of the transaction by the disinterested members of the board of directors protect from liability a director who is interested in a transaction and who does not make full disclosure about that transaction?
 - (4) Does an exculpatory provision in the articles of incorporation protect from liability a director who authorizes a transaction in which another director has an interest without obtaining full disclosure?
 - (5) Does an exculpatory provision in the articles of incorporation protect from liability a director who is interested in a transaction and who does not make full disclosure about that transaction?

DISCUSSION

Summary

The directors (other than Major) will not be protected from liability by the business judgment rule because they did not exercise adequate care in authorizing the transactions with Major. Major will not be protected from liability by the business judgment rule because he is interested in the transactions and did not disclose all relevant facts about the transactions to the other directors. Nor will Major be protected from liability by the approval of the transactions by a disinterested board of directors because he failed to make full disclosure regarding the transactions to the directors who approved the transactions. The directors (other than Major) will be protected from liability by the exculpatory provision in the articles of incorporation because their breach was of the duty of care, not the duty of loyalty, and the exculpatory provision protects against breaches of the duty of care. Major, however, will not be protected from liability by the exculpatory provision because he breached his duty of loyalty when he received an improper financial benefit through the transactions with Corporation.

Point One: (30–40%)

The directors (other than Major) will not be protected from liability by the business judgment rule because they did not exercise adequate care when they failed to seek and receive sufficient information about the transactions.

Directors owe a duty of loyalty and a duty of care. The directors other than Major received no personal benefit from the transactions that they approved and did not stand on both sides of the transactions being approved. Thus the directors, other than Major, did not violate the duty of loyalty.

Consequently, the claims against them are for failure to exercise the level of care required of directors. In this case, the claim is likely to be that the directors failed to exercise care in informing themselves regarding the transactions that they approved. *See generally Smith v. Van Gorkom*, 488 A.2d 858, 872–73 (Del. 1985) (directors have a duty to exercise an informed business judgment); MODEL BUS. CORP. ACT § 8.30(b) (directors shall exercise care in becoming informed).

The exercise of managerial powers by a director is generally subject to the business judgment rule. The business judgment rule “is a presumption that in making a business decision, the directors of a corporation acted on an informed basis, in good faith and in the honest belief that the action taken was in the best interests of the company.” *Aronson v. Lewis*, 473 A.2d 805, 812 (Del. 1984) (overruled on other grounds). Consequently, “the party attacking a board decision as uninformed must rebut the presumption that its business judgment was an informed one.” *Smith*, 488 A.2d at 872. *See also* MODEL BUS. CORP. ACT § 8.31(a)(2)(ii)(A) (to similar effect).

Under the facts, the directors (other than Major) did not exercise adequate care in becoming informed about the transactions in question: they relied entirely on Major’s assurances that the prices paid by Corporation represented the fair market value of the properties purchased, they did not ask how he determined the fair market value, and they never employed any independent party to evaluate the properties being purchased, despite their awareness of Major’s interest in the transactions. In sum, the directors exercised scant, if any, care in becoming informed.

In performing their duty to become informed, directors are generally entitled to rely upon information, opinions, reports, or statements of corporate officers. *See* DEL. GEN. CORP. LAW § 141(e); MODEL BUS. CORP. ACT § 8.30(d) & (e)(1). In this case, however, the directors had knowledge that made such reliance unwarranted. They knew that Major was interested in the transactions being presented to the board for approval. *See* MODEL BUS. CORP. ACT § 8.30(d) (director is not protected from liability in reliance where he or she has knowledge that makes reliance unwarranted). In addition, Major’s statement that “I have investigated the value of my property to be purchased by Corporation and I assure you that the purchase price to be paid by Corporation represents its fair market value” probably lacked enough substance to be relied upon. *See Smith*, 488 A.2d at 874–75.

In sum, the directors (other than Major) are not entitled to the protection of the business judgment rule because their decisions were uninformed.

Point Two: (10–20%)

Major will not be protected from liability by the business judgment rule because Major has an interest in the transactions in question.

Where a director stands on both sides of a transaction, the business judgment rule does not apply. *See* AM. LAW INST., PRINCIPLES OF CORPORATE GOVERNANCE: ANALYSIS AND RECOMMENDATIONS § 4.01(c)(1) (1994) (good faith business judgment of director fulfills duty of director where director is, among other things, not interested in the subject of the transaction); *cf.* MODEL BUS. CORP. ACT § 8.31(a)(2)(v) (director not liable to corporation unless party asserting liability establishes one of a number of elements including receipt of financial benefit by the director to which director is not entitled or other actionable breach of duty by the director to deal fairly with the corporation). Instead, the director has the burden of proving the fairness of the transaction. *See, e.g., HMG/Courtland Properties, Inc. v. Gray*, 749 A.2d 94, 115 (Del. Ch. 1999) (directors who were on both sides of transactions in question had burden of establishing entire fairness of the transactions).

Major will not be protected from liability by the business judgment rule because Major was interested in the transactions and, consequently, Major will be required to establish the fairness of the transactions in question in order to avoid a claim that he breached a fiduciary duty of loyalty.

Point Three: (10–20%)

Major will not be protected from liability by the approval of the transactions by a disinterested board of directors because Major failed to make full disclosure regarding the transactions to the directors who approved the transactions.

Major may argue that since the transactions in question were approved by disinterested directors, the transactions should be subject to the business judgment rule and the party challenging the transactions should be required to prove that the transactions were unfair to the corporation or, perhaps, even to prove that the transactions constituted waste. *See* DEL. GEN. CORP. LAW § 144(a)(1); *Marciano v. Nakash*, 535 A.2d 400, 405 n.3 (Del. 1987) (dictum) (“approval by fully informed disinterested directors under § 144(a)(1) . . . permits invocation of the business judgment rule and limits judicial review to issues of gift or waste with the burden of proof upon the party attacking the transaction”). In a Model Act jurisdiction, Major may also argue that the transaction should be within the statutory “safe harbor” for transactions approved by disinterested directors and, therefore, immune from attack. *See* MODEL BUS. CORP. ACT §§ 8.61(b) & 8.62.

None of these arguments is available to Major because approval by disinterested directors does not trigger the business judgment rule where the director has not disclosed *all* material facts about the director’s interest in the transaction. *Cf. id.* § 8.60(4) (defining “required disclosure” to include, among other things, “all facts known [by the director] respecting the subject matter of the transaction that an ordinarily prudent person would reasonably believe to be material to a judgment about whether or not to proceed with the transaction”). Clearly Major did not make adequate disclosure to the board of directors. In fact, Major misrepresented the facts by assuring

the board that the price being paid for his properties was the fair market value. Certainly an ordinarily prudent board member would find the fact that the price is vastly more than market price is material to a judgment about whether to proceed with a transaction.

In sum, Major is not protected from liability by the approval of the transactions by a disinterested board of directors because Major failed to make full disclosure to the directors.

Point Four: (5–15%)

The directors (other than Major) will be protected from liability by the exculpatory provision in the articles of incorporation.

A corporation's articles of incorporation may include a provision shielding its directors from liability for money damages for the failure to exercise adequate care in the performance of their duties as directors. Delaware, for example, permits provisions that protect directors from liability for breaches of the duty of care, but does not permit provisions that protect directors from liability for any breach of the duty of loyalty, for acts or omissions that are not in good faith, or for any transactions from which the director received an improper personal benefit. *See* DEL. GEN. CORP. LAW § 102(b)(7). Similarly, the Model Business Corporation Act permits provisions that protect directors from liability for breaches of the duty of care, but does not permit provisions that limit or eliminate liability “for the amount of a financial benefit received by a director to which he is not entitled.” MODEL BUS. CORP. ACT § 2.02(b)(4).

Here, there is no suggestion that the directors (other than Major) received an improper personal benefit. The directors (other than Major) do not appear to have breached the duty of loyalty. They have not engaged in self-dealing and the facts do not suggest they usurped any corporate opportunity or received excessive compensation. Although their actions in taking Major's assertions at face value appear very foolish, negligence does not establish bad faith.

In sum, the directors (other than Major) are protected from liability for money damages for breach of the duty of care by the exculpatory provision in the articles of incorporation.

[NOTE: An applicant may argue that the directors (other than Major) acted in bad faith because they failed to take any meaningful action to determine the facts underlying the transactions. If that inaction is found to constitute gross negligence, it may constitute an action “not in good faith” and so subject the directors (other than Major) to liability. Applicants who raise this argument should receive extra credit.]

Point Five: (5–15%)

Major will not be protected from liability by the exculpatory provision in the articles of incorporation because Major breached his duty of loyalty and received an improper personal benefit from Corporation.

Major will not be protected from liability by the exculpatory provision in the articles because that provision does not protect directors for actions undertaken in bad faith or for a breach of the

duty of loyalty, such as the receipt of an improper personal benefit. Major acted in bad faith by intentionally misrepresenting to the board that the purchase prices represented fair market value when they in fact reflected vastly inflated prices. Major's conduct probably violated the duty of loyalty since he had a personal interest in the transactions, they were not properly approved, and they probably were not fair to the corporation. Major received an improper personal benefit by getting proceeds for his property at inflated prices. For these reasons, the exculpatory provision will not protect Major from liability.

*July 2009
Questions*

MEE Question 1

Prior to his death, Settlor created a valid irrevocable trust and named Trustee as trustee. The trust instrument specified that:

- 1) Trustee shall distribute trust income to Trustee's adult children, David and Edna, in such amounts as Trustee, in Trustee's absolute and uncontrolled discretion, shall determine.
- 2) Trustee may distribute all trust income to either David or Edna.
- 3) Trustee shall have the power to sell any trust property.
- 4) This trust shall terminate in 10 years and, upon its termination, Trustee shall distribute 60% of trust property to David and Edna, in equal shares.
- 5) In view of my long-standing interest in the area of education, Trustee shall distribute all remaining trust property to my alma mater, Business College.

During the last year of the trust, Trustee paid all trust income to David. Trustee's decision was motivated solely by her personal disagreement with Edna's political opinions.

During the same year, Trustee decided to sell certain trust assets. Solely to avoid paying a 6% sales commission that would have reduced the trust's sales proceeds, Trustee, in her personal capacity, purchased these assets for their undisputed fair market value. After the sale, the assets unexpectedly increased in value. Trustee recently sold these assets to a bona fide purchaser for a significant profit and retained the profit for herself.

The trust has terminated, and Trustee has discovered that Business College no longer exists. Trustee seeks judicial approval to distribute Business College's share of the trust to Settlor's estate.

1. Did Trustee breach any fiduciary duty by paying all trust income to David during the last year of the trust? Explain.
2. Must Trustee return to the trust the profit she retained from assets she purchased from the trust? Explain.
3. Should a court authorize Trustee to distribute trust property that was payable to Business College to Settlor's estate? Explain.

MEE Question 2

Debate! is a local cable-TV program devoted to public affairs. Each program features a debate about a controversial public issue.

One year ago, a state official proposed legislation that would substantially increase tax rates. The proposal was very controversial, and the producers of *Debate!* invited two guests, Tax and Anti-Tax, to debate the proposal.

During a live broadcast, the following exchange took place:

Anti-Tax: Taxes are already much too high. If this ridiculous tax increase goes through, you'll have a revolution on your hands!

Tax: Don't be ridiculous. This tax increase is necessary and affordable.

Anti-Tax: You're a dishonest imbecile. The people have had enough! I call on all viewers to refuse to pay this proposed tax. And to make it clear that we mean business, I call on viewers to make Tax pay up. He lives at 224 Oak Street, right here in town. Let's show him what a taking really means.

At the conclusion of the program, Anti-Tax was arrested and charged with violating two state laws. One law, the "Sedition Statute," prohibits "any person from teaching the duty, necessity, or propriety of crime, violence, or unlawful acts of terrorism as a means of accomplishing political reform." The Sedition Statute has been construed to apply only to advocacy of imminent law-breaking.

The other law, the "Abusive Words Statute," punishes "directing any abusive word or term at another." This statute has not been interpreted by the state courts.

Two days after Anti-Tax's remarks, an unknown arsonist started a fire that destroyed Tax's home.

The proposed tax increase has not been enacted.

1. Assuming that Anti-Tax's statements fall within the scope of the Sedition Statute, what constitutional arguments can be made against convicting him for violating the statute? Explain.
2. Assuming that Anti-Tax's statements fall within the scope of the Abusive Words Statute, what constitutional arguments can be made against convicting him for violating the statute? Explain.

MEE Question 3

Two years ago, Husband and Wife divorced in State A. The divorce decree specified that

- (a) Husband and Wife shall have joint custody of their 10-year-old child, Son, who shall reside with Wife Sunday through Wednesday and with Husband Thursday through Saturday of each week; and
- (b) Husband shall pay Wife \$1,000 per month in child support until Son turns 18.

Three months ago, Wife accepted a job in State B, about 600 miles from State A. Wife's new job raises her net income by \$1,000 per month and offers excellent opportunities for promotion. Wife's parents also live near Wife's new job in State B, and Wife believes that Son will benefit from spending more time with his grandparents.

Two months ago, Wife moved to State B with Son. Given the distance between Wife's new home in State B and Husband's home in State A, Wife can no longer transport Son to Husband's home in compliance with the State A custody decree. Wife therefore telephoned Husband and said, "Son can visit you for six weeks during the summer," to make up the time that Husband will lose with Son each week.

Husband has never visited State B and owns no property there; he opposed Wife's move to State B. Husband also told Wife that, given her higher earnings from her new job, he would immediately stop paying child support. Husband has not paid child support since making this statement.

Ten days ago, Wife filed a petition in a State B court seeking modification of the State A custody decree so as to give her sole custody of Son and to substitute a six-week summer visitation period for Husband's weekly time with Son. Wife also registered and sought to enforce the State A child support order. Wife personally served this petition on Husband in State A.

Five days ago, Husband filed a petition in State A court seeking modification of the custody decree so as to give him sole custody of Son and to substitute an eight-week summer visitation period for Wife's weekly time with Son. Husband also requested elimination of his support obligation retroactive to the date of Wife's move. Husband personally served this petition on Wife in State B.

1. Should the State B court enforce the State A child support order? Explain.
2. Should the State B court modify the State A custody order by awarding sole custody of Son to Wife and substituting a six-week summer visit for Husband's weekly time with Son? Explain.

MEE Question 3

3. Should the State A court modify the State A custody order by awarding sole custody of Son to Husband and substituting an eight-week summer visit for Wife's weekly time with Son? Explain.
4. Should the State A court modify the State A child support order either retroactively or prospectively? Explain.

MEE Question 4

Three years ago, Printco, a printing company, borrowed \$250,000 from Bank and entered into an enforceable agreement giving Bank a security interest in “all Printco’s equipment, whether now owned or hereafter acquired.” Bank promptly filed a proper financing statement in the appropriate state office, listing itself as the secured party, listing Printco as the debtor, and indicating “all debtor’s equipment, whether now owned or hereafter acquired” as collateral.

Two years after signing the security agreement with Bank, Printco entered into a signed agreement with Leaseco, a leasing company, pursuant to which Leaseco agreed to purchase a \$100,000 printing press and to immediately lease the press to Printco. The agreement provided that Leaseco retained title to the printing press and required Printco to pay Leaseco \$2,500 per month for five years for the use of the press. The agreement also provided that it could not be terminated by Printco for any reason. At the conclusion of the five-year lease, Printco was required to return the press to Leaseco or to purchase the press for \$10.

Printco’s full compliance with the agreement would allow Leaseco to recover rental payments equal to the full cost of the press plus an annual return of about 10%.

Leaseco delivered the printing press to Printco.

Bank was unaware of Printco’s agreement with Leaseco, and Leaseco never filed a financing statement covering the printing press.

Recently, Printco defaulted on its obligations to Bank. At the time of the default, Printco owed \$150,000 to Bank. Bank promptly and peacefully took possession of all of the equipment on Printco’s premises, including the printing press. After giving proper notice of the sale to Printco, Bank sold all of Printco’s equipment at a public auction for a total of \$75,000. Purchaser, acting in good faith, bought the printing press for \$50,000. All aspects of the auction and sale were commercially reasonable.

One week after the sale, Leaseco contacted Bank and informed Bank that the printing press was Leaseco’s property, not Printco’s, and that Bank had no right to sell it. Leaseco demanded that Bank pay Leaseco \$50,000, the amount that Bank received for the press. Leaseco also contacted Purchaser and demanded that Purchaser return the press to Leaseco.

1. What is the nature of Leaseco’s interest in the printing press? Explain.
2. Did Bank have a right to repossess and sell the printing press? Explain.
3. As between Bank and Leaseco, which has a superior interest in the proceeds of the sale of the printing press? Explain.
4. Does Leaseco have the right to recover the printing press from Purchaser? Explain.

MEE Question 5

Sam was walking down the sidewalk when he heard shouts coming from a burning house. Sam immediately called 911 on his cell phone and rushed into the house. Inside the house, Sam discovered Resident trying to coax Resident's frightened dog from behind a couch. Sam, at great risk to his safety, crawled behind the couch and pulled the dog from its hiding place. Sam, carrying the dog, and Resident then safely made their way outside.

Once outside, Resident thanked Sam and asked Sam about his work. Sam told Resident, "I was hoping to start training as a paramedic in the fall, but I don't think I'll be able to afford the cost of the program."

Resident responded, "We need all the good paramedics that we can get! If you are going to start paramedic training, I want to help you. Also, my dog means everything to me. I want to compensate you for your heroism. Give me your address, and I will send you a check for a thousand dollars."

Sam said, "Thank you so much! Here is my address. I'll apply to the paramedic program tomorrow."

Sam applied to the paramedic training program but was denied admission. Sam then applied for and was accepted into a cosmetology training program and owes that program \$1,000. Sam cannot pay the \$1,000 he owes because when Resident learned Sam was not attending the paramedic program, he refused to give Sam the \$1,000.

Sam sued Resident to recover the \$1,000.

What theories could Sam assert to recover all or some portion of the \$1,000, and what is the likelihood of success on each theory? Explain.

MEE Question 6

Ann and Bill, both citizens of State X, were walking by a construction site in State X when an overhead crane dropped a load of plate glass windows on the sidewalk near them. The windows shattered when they hit the pavement, and both Ann and Bill were struck by flying glass. Ann's injuries were severe; she incurred more than \$450,000 in medical expenses. Bill suffered only minor injuries and had medical bills of \$500.

At the time of the accident, the glass windows were being installed in a new skyscraper by GlassCo, Inc., a State Y corporation with its principal place of business in State Y. The crane operator was a GlassCo employee, and the crane was owned by GlassCo. A subsequent investigation by GlassCo's insurance company concluded that the accident was due to crane operator error and improper crane maintenance.

Ann and Bill have joined as plaintiffs and filed a suit against GlassCo in a state trial court in State X. Ann is seeking more than \$1,000,000 in damages, and Bill is seeking \$5,000. They have both refused GlassCo's request to enter into settlement negotiations.

You are an associate in the law firm that has been retained by GlassCo. The partner in charge of the case wants to remove the lawsuit from state to federal court. She has asked:

1. What must GlassCo do to remove the case from state to federal court? Explain.
2. If the case is removed to federal court, do the Federal Rules of Civil Procedure permit the separate claims of Ann and Bill to remain joined in a single lawsuit? Explain.
3. If Ann's and Bill's claims remain joined, will the federal court have jurisdiction over the case? Explain.

MEE Question 7

John, age 18, and Crystal, age 14, walked into the Minit Mart, a convenience store. They wandered around the store for a few minutes and then walked up to the counter. John had his hand in a leather bag. He stared at the store clerk for about 10 seconds and started to sweat. At this point, Crystal began to cry. She said, “I don’t want to do this,” and ran out of the store. John remained for a few more seconds and then ran out of the store himself. The store clerk immediately called 911 and nervously said, “Two kids were about to rob me, but I guess they changed their minds.”

Three days later, the police came to Crystal’s home, where she lives with her parents. The police told Crystal’s mother that Crystal was a suspect in an attempted robbery and that they wanted to search for evidence. Crystal’s mother asked the police if they had a warrant. They said, “No, but we can get one.” Crystal’s mother let the police in.

When the police searched Crystal’s room, they found John’s zipped leather bag in Crystal’s closet. Without first obtaining a search warrant, or asking Crystal’s mother who owned the bag, the police opened the bag and found a gun and printouts of e-mails from John to a friend. The police read the e-mails, which described John’s plans to rob the Minit Mart with the help of his girlfriend, Crystal.

Crystal later confessed that she and John had planned to rob the Minit Mart, but that she got scared and ran out of the store. She also said that John gave her the leather bag with the gun after they had left the Minit Mart and told her to “get rid of it.”

John was charged with attempted armed robbery of the Minit Mart store. His lawyer filed a motion to suppress the leather bag and its contents on the grounds that the bag was seized and searched in violation of John’s Fourth Amendment rights. The trial court denied the motion, and the issue was properly preserved for appeal.

At John’s trial for attempted armed robbery, the Minit Mart clerk testified to the facts that he had told the police earlier. Crystal also testified for the prosecution, repeating what she had previously told the police. She also said that the leather bag belonged to John, that she and John had planned the robbery together, that she saw John load the gun and put it in his leather bag before they entered the Minit Mart, and that John’s hand was in the leather bag with the gun for the entire time that they were in the Minit Mart. She testified that she “got scared” when she and John were standing at the counter, which is why she ran from the store. She said that when John got into the car after running out of the store, he said, “Well, that went bad,” and then drove away from the store.

After Crystal’s testimony, the prosecution introduced the leather bag, the e-mails, and the gun into evidence. The court admitted all of the evidence over the objection of John’s lawyer.

John presented no evidence.

MEE Question 7

At the close of the case, the trial court denied both John's motion for judgment of acquittal and his request for a jury instruction on the defense of abandonment.

The jury convicted John of attempted armed robbery. Did the trial court err:

1. In denying John's motion to suppress the leather bag and its contents? Explain.
2. In denying John's motion for judgment of acquittal? Explain.
3. In failing to instruct the jury on the defense of abandonment? Explain.

MEE Question 8

Six months ago, Andy, Ben, and Carol executed a document entitled “Metropolitan Limited Partnership Agreement” (the Agreement). Under the terms of the Agreement, Andy, Ben, and Carol were to be “limited partners” in the “Metropolitan Limited Partnership” (MLP). The Agreement provided that each would contribute \$500,000 to the venture, which they each did.

The Agreement also provided that Warren would be the “general partner” of MLP, but Warren never signed the Agreement.

The Agreement further provided that the venture would buy undeveloped land and hold it for development. The land was purchased, and a deed for the land naming “Metropolitan Limited Partnership” as grantee was executed, delivered, and recorded. In the MLP name, Andy, Ben, and Carol also hired a marketing company, Marketing, to develop a campaign to resell the land as “Metropolitan Estates.”

Two months after the Agreement was executed by Andy, Ben, and Carol, Marketing sued MLP, and Andy, Ben, and Carol individually, for nonpayment of amounts due to Marketing for services it had provided to MLP. MLP is unable to pay Marketing because the land, its only asset, has substantially depreciated due to an economic downturn.

Immediately after Marketing filed suit, Andy, Ben, and Carol filed a Certificate of Limited Partnership in the name of Metropolitan Limited Partnership in the appropriate state office.

Two weeks after the Certificate of Limited Partnership was filed, Zack went onto the land owned in the name of Metropolitan Limited Partnership and fell down an uncovered well. Zack died as a result of injuries suffered in the fall. Zack’s estate has filed a wrongful death action against Andy, Ben, and Carol individually.

1. What type of entity is the Metropolitan Limited Partnership? Explain.
2. Can Marketing recover from Andy, Ben, and Carol personally for the amounts it is owed by Metropolitan Limited Partnership? What steps must it follow if it tries to do so? Explain.
3. If Zack’s estate is entitled to damages, can it recover from Andy, Ben, and Carol personally for the wrongful death claim? What steps must it follow if it tries to do so? Explain.

MEE Question 9

Two years ago, Testator, age 70, met Friend, age 50, through a dating service. Testator was a successful businessman and a widower. Friend worked for low-income wages. Friend showered Testator with affection and appeared to enjoy sharing his interests.

Three months ago, Testator proposed marriage to Friend, and Friend accepted. Thereafter, Testator decided to consult Friend's Brother, an attorney, about executing a will that would provide for Friend after Testator's death.

Without Testator's knowledge, Friend promised Brother that she would "be very generous" to him if Testator left her everything.

Testator consulted Brother and told him that he would like to leave his entire estate to a testamentary trust that would give Friend all trust income during her lifetime and give Charity the remaining trust assets after Friend's death. Brother told Testator that he would draft a will in accordance with these instructions. Brother instead drafted a will in which Testator bequeathed all of his assets to a trust, named Friend the beneficiary of "all trust income during her lifetime," gave Friend a "general power of appointment exercisable by deed or will" over trust assets, and named Charity the taker in default of appointment. After Brother advised Testator that the will reflected Testator's instructions, Testator properly executed the will drafted by Brother.

Shortly thereafter, Friend properly executed a will leaving her entire residuary estate to her Sister. Neither the residuary clause nor any other clause in Friend's will made reference to the power of appointment in Testator's will.

On the way to their wedding, Testator and Friend were in an automobile accident. Testator died immediately, and Friend died one week later.

Testator left a substantial estate. He was survived by his elderly Uncle and his Niece, both of whom he had not seen in several years. Friend is survived by Sister and Brother.

1. Is Testator's will invalid on the basis of undue influence? Explain.
2. Is Testator's will invalid on the basis of fraud? Explain.
3. If Testator's will is valid, to whom should Testator's estate be distributed? Explain.
4. If Testator's will is invalid, to whom should Testator's estate be distributed? Explain.

July 2009
Analyses

TRUSTS I.C.2., E.1., I.3.; II.F.3.

ANALYSIS

- Legal Problems:
- (1) May a trustee with absolute and uncontrolled discretion be held liable for abuse of discretion?
 - (2) Does a trustee breach her duty of loyalty by purchasing trust property at its fair market value, and if so, must the trustee return the profits to the trust?
 - (3) When a charitable gift of trust assets cannot be carried out because the charitable beneficiary no longer exists, should these assets be returned to the settlor's estate?

DISCUSSION

Summary

Even when a trustee has absolute and uncontrolled discretion, she may be held liable for actions representing an abuse of discretion. Failure to distribute trust income to Edna based on a personal motive constitutes an abuse of discretion, and it is likely that Trustee would be liable for withholding income from Edna based on her disagreement with Edna's political opinions.

A trustee has a duty of loyalty to trust beneficiaries. A trustee breaches the duty of loyalty by purchasing trust assets from the trust in her personal capacity, even if she pays the trust the fair market value of those assets. Because Trustee breached her duty of loyalty by purchasing property from the trust, Trustee must return the profit to the trust.

When a charitable disposition of trust assets cannot be carried out and the trust has terminated, the court should determine whether, in making the gift, the settlor had a general or specific charitable purpose. If the court finds that the settlor had a general charitable purpose, as is likely in this case, it should exercise its cy pres power and authorize distribution of the trust property to a charity that falls within the settlor's general charitable purpose.

Point One: (30–40%)

Even when a trustee has absolute and uncontrolled discretion, she may be held liable for actions representing an abuse of discretion. A failure to distribute trust income based entirely on a personal motive constitutes an abuse of discretion.

A trustee has a fiduciary duty to carry out the terms of the trust established by the settlor; failure to do so constitutes a breach of trust. In this case, the trust instrument conferred upon Trustee absolute and uncontrolled discretion to make income distributions, including distribution of all

trust income to only one beneficiary. Trustee's distribution thus appears to be consistent with the terms of the trust, and a court will not ordinarily question a trustee's exercise of a discretionary power, particularly when the trustee is granted absolute and uncontrolled discretion. *See* RESTATEMENT (SECOND) OF TRUSTS § 187, cmts. g & j.

However, even when a trustee is granted absolute and uncontrolled discretion, her actions may be reviewed for abuse of discretion. *See id.* § 187; UNIF. TRUST CODE § 814(a). Application of this standard will insulate the trustee with respect to decisions about which reasonable individuals might disagree. But when the trustee's decision is based exclusively on personal reasons unrelated to the settlor's goals, the trustee's decision may be overturned. *See* RESTATEMENT (SECOND) OF TRUSTS § 187, cmts. g & j.

Here, Trustee withheld all income from Edna solely because of her personal disagreement with Edna's political opinions. Such vindictiveness probably represents an abuse of discretion. It is likely that a court would hold that Trustee's decision not to pay Edna any trust income during the last year of the trust was an abuse of discretion and therefore a breach of the duty to carry out the terms of the trust.

[NOTE: The call is structured in such a way that the applicant need not discuss what damages Edna might be entitled to for this breach. The amount of her damages may not be easily calculable.]

Point Two: (30–40%)

Because Trustee breached her duty of loyalty by purchasing trust property in her personal capacity, Trustee must return the profits to the trust.

It is a fundamental trust concept that trustees have a duty of loyalty to trust beneficiaries. *See* RESTATEMENT (SECOND) OF TRUSTS § 170(1); UNIF. TRUST CODE § 802(a). The duty of loyalty includes the duty not to engage in self-dealing, such as purchasing property from the trust without court approval. The prohibition on self-dealing applies even if the purchase price is fair and reasonable. *See* RESTATEMENT (SECOND) OF TRUSTS § 170(1), cmt. b; UNIF. TRUST CODE § 802(b).

[NOTE: The trust standard differs from the corporate standard. Under the corporate standard, fairness, under certain circumstances, may shield directors from liability for a self-dealing transaction.]

Trustee clearly breached her duty of loyalty to the trust beneficiaries by buying trust assets in her personal capacity. Under the no-further-inquiry rule, the reasonableness of Trustee's action and her goal to save the trust the sales commission are irrelevant. Therefore, Trustee is liable to the trust beneficiaries for all profits resulting from the breach. *See* RESTATEMENT (SECOND) OF TRUSTS §§ 205, 206; UNIF. TRUST CODE § 1002(a)(2).

Point Three: (30–40%)

The court should find that Settlor had a general charitable intent. Therefore, the trust property should not be returned to Settlor's estate. Instead, the court should exercise its cy pres power and order that the property be distributed to a charity that falls within the general charitable purposes expressed in the trust.

Although a settlor or the settlor's estate is generally entitled to the return of any trust property that cannot be distributed in accordance with the terms of the trust, an exception applies to charitable trust dispositions that reflect a general charitable intention. *See* RESTATEMENT (SECOND) OF TRUSTS §§ 411, 413; RESTATEMENT (THIRD) OF TRUSTS § 8, cmt. g. In such a case, a court should exercise its cy pres power and direct distribution of the failed disposition to another charity. *See* RESTATEMENT (SECOND) OF TRUSTS § 399; RESTATEMENT (THIRD) OF TRUSTS § 67.

Until recently, it was necessary to demonstrate that the settlor had a general charitable intention before the cy pres doctrine could be applied. *See* RESTATEMENT (SECOND) OF TRUSTS § 399. However, the latest Restatement of Trusts adopts the position that there should be a presumption that the settlor had a general charitable intention. *See* RESTATEMENT (THIRD) OF TRUSTS § 67, cmt. b; *accord* UNIF. TRUST CODE § 413.

Under either approach, a court should find that Settlor had a general charitable intention given that the trust instrument itself specified that the gift to Business College derived from Settlor's "long-standing interest in the area of education." Because Settlor had a general charitable intention to benefit education, Settlor's estate is not entitled to a return of any portion of the trust property. Instead, a court should exercise its cy pres power and direct distribution to another educational institution. *See* RESTATEMENT (SECOND) OF TRUSTS § 399; RESTATEMENT (THIRD) OF TRUSTS § 67; UNIF. TRUST CODE § 413.

CONSTITUTIONAL LAW IV.F.2.a., c. & g.

ANALYSIS

- Legal Problems:
- (1) Does the First Amendment permit Anti-Tax's conviction under the state sedition statute based on advocacy of (a) illegal nonpayment of a future tax increase, or (b) "mak[ing] Tax pay up . . . [and] show[ing] him what a taking really means"?
 - (2) Does the First Amendment permit Anti-Tax's conviction under the state's broad abusive-words statute?

DISCUSSION

Summary

Under the *Brandenburg* test, a conviction for violation of the Sedition Statute based on inciting illegal conduct is consistent with the First Amendment if there is advocacy of illegal conduct that is imminent and likely to occur and if the statute is limited to criminalizing advocacy of such conduct. Anti-Tax's advocacy of nonpayment of the proposed tax increase does not meet the "imminent and likely" test because the proposed tax legislation has not been enacted. It is unclear whether Anti-Tax's advocacy of "mak[ing] Tax pay up . . . [and] show[ing] him what a taking really means" satisfies the *Brandenburg* test.

Anti-Tax may not be convicted under the Abusive Words Statute because the statute is overbroad and facially unconstitutional.

Point One: (45–55%)

Anti-Tax cannot be convicted for advocating nonpayment of the tax increase because the proposed illegal conduct could not be performed imminently. It is possible, but not certain, that Anti-Tax could be convicted for urging viewers to "make Tax pay up" and "show him what a taking really means."

In *Brandenburg v. Ohio*, 395 U.S. 444 (1969), the Supreme Court of the United States held that the First Amendment precludes the conviction of individuals who incite or advocate breaking the law unless (1) there is *advocacy* of illegal conduct and not just an abstract expression of ideas, (2) the advocacy calls for *imminent* lawbreaking, and (3) the lawbreaking is *likely* to occur. Moreover, a person cannot be convicted on the basis of a statute that does not distinguish between abstract expression of ideas and such advocacy.

In this case, Anti-Tax made two statements. He advocated nonpayment of the proposed tax increase and he urged viewers to "make Tax pay up" and "show him what a taking really means."

Anti-Tax's statement urging nonpayment of a future tax increase does not satisfy the *Brandenburg* requirements. Although the statement satisfies the illegality requirement, the imminence requirement cannot be satisfied because the proposed tax legislation had not been enacted. It also seems doubtful that the state could show likelihood; it is unclear that the tax increase legislation will ever be passed, and there is no evidence that anyone will take seriously Anti-Tax's suggestion.

It is unclear whether Anti-Tax's statement urging viewers to "make Tax pay up" and "show him what a taking really means" meets the *Brandenburg* requirements for advocacy of imminent lawbreaking. The statement does not expressly advocate immediate, illegal conduct.

On the other hand, the statement does urge a "taking," which implies theft or property destruction. This implication, coupled with the fact that Anti-Tax provided Tax's home address, suggests that Anti-Tax was calling for immediate action. Although there is no evidence of the likelihood that a viewer would act on Anti-Tax's suggestion, the short time lapse between the broadcast and the arson provides circumstantial evidence that a viewer did act on it. It is thus possible, but not certain, that Anti-Tax's statement will be found to satisfy both *Brandenburg* requirements.

While the Sedition Statute is not limited on its face to punishing advocacy of imminent lawbreaking, it has been construed to apply only to such advocacy. Accordingly, overbreadth of the statute is not a bar to conviction under it.

Point Two: (45–55%)

The First Amendment "fighting words" doctrine does not permit Anti-Tax's conviction under the Abusive Words Statute.

In *Chaplinsky v. New Hampshire*, 315 U.S. 568, 572 (1942), the Supreme Court excluded from the protection of the First Amendment so-called "fighting words," i.e., words "which by their very utterance inflict injury or tend to incite an immediate breach of the peace." Fighting words are unprotected speech because they play little or no part in the exposition of ideas. *Id.*

Speech does not come within the fighting-words doctrine unless it is likely to cause a violent reaction from others. See *Cohen v. California*, 403 U.S. 15 (1971) (wearing of a jacket reading "F*ck the Draft" in a courthouse did not constitute fighting words because it was not likely to cause a violent reaction from others under the circumstances). Here, it is possible, but not certain, that the state can establish that Anti-Tax's statement urging viewers to "make Tax pay up," etc., was likely to cause a violent reaction.

However, even if the state establishes a likelihood of a violent reaction, Anti-Tax may not be convicted under the Abusive Words Statute because of its overbreadth. In *Gooding v. Wilson*, 405 U.S. 518 (1972), the Court held that a man who told a police officer "I'll kill you" and "I'll choke you to death" could not be punished for uttering what were clearly fighting words because the statute under which conviction was sought was overbroad and unconstitutional on its face.

Here, the Abusive Words Statute, which punishes "directing any abusive word or term at another," is clearly overbroad. Commentary on matters of public concern is afforded the highest

level of First Amendment protection, and this protection extends to “vehement, caustic, and sometimes unpleasantly sharp attacks on government and public officials.” *New York Times Co. v. Sullivan*, 376 U.S. 254, 270 (1964). A statute which punishes language that is merely rude or abusive will of necessity reach protected speech. Indeed, Anti-Tax’s statement “You’re a dishonest imbecile” is a textbook example of rude and abusive speech protected by the First Amendment.

Thus, even if Anti-Tax’s statement urging viewers to “make Tax pay up” represented fighting words that threatened personal violence against Tax, Anti-Tax’s conviction under this overbroad statute would violate the First Amendment.

FAMILY LAW III.F. & G.; IV.C., E. & F.

ANALYSIS

- Legal Problems:
- (1) May a court in a non-issuing state enforce a child support order against an obligor over whom it does not have personal jurisdiction?
 - (2) May a court in a non-issuing state modify a custody decree when one party continues to reside in the issuing state?
 - (3) When should a court modify a custody decree based on the relocation of a parent in a situation where the parents share joint physical custody?
 - (4) When should a court grant a support obligor downward modification of a child support order?

DISCUSSION

Summary

Interstate enforcement and modification of child support is governed by the Uniform Interstate Family Support Act (UIFSA), which has been adopted by all states. Here, UIFSA would permit State B, the non-issuing state, to enforce a registered support order against Husband through a “two-state” procedure.

The interstate modification of the child custody decree is governed by the federal Parental Kidnapping Prevention Act (PKPA) and the Uniform Child Custody Jurisdiction and Enforcement Act (UCCJEA). Neither the PKPA nor the UCCJEA give the State B court authority to modify the State A custody decree.

Custody modification is based on a substantial change in circumstances. Wife’s relocation to State B has significantly impaired Husband’s ability to exercise his custodial rights and represents a substantial change in circumstances. On these facts, it is unclear whether Husband will obtain modification of the custody decree in State A.

Under UIFSA, State A has exclusive jurisdiction to modify the State A child support order prospectively if it finds a substantial change in circumstances. If Husband obtains modification of the custody decree, he can probably succeed in eliminating his child support obligation. If he does not obtain modification, he will not be able to eliminate his child support obligation, although it is possible that he will be able to obtain prospective downward modification.

Point One: (10–20%)

State B should enforce the State A child support order because a registered child support order is enforceable in a non-issuing state even if the non-issuing state does not have personal jurisdiction over the respondent.

The interstate enforcement and modification of child support is governed by the Uniform Interstate Family Support Act (UIFSA), which has been adopted by all states. Under UIFSA § 603(b), a registered child support order issued in another state is “enforceable in the same manner and is subject to the same procedures as an order issued by a tribunal of [the adopting state].”

State B does not have personal jurisdiction over Husband because he has no State B contacts. *See Kulko v. Superior Court*, 436 U.S. 84 (1978). However, UIFSA provides a two-state procedure that avoids the need to obtain personal jurisdiction over Husband. Using this approach, Wife can obtain an enforcement order in State A (the issuing state) by filing an enforcement petition in a court of State B (the initiating state) that will be forwarded to the relevant State A court. *See* UIFSA § 203. Thus, a State B court may enforce the State A child support order.

Because Husband has not paid child support required under the State A order, support enforcement is appropriate, and State B should enforce the State A child support order.

Point Two: (20–30%)

A State B court may not modify the State A custody order because, under the PKPA, only courts of the issuing state may modify a custody order so long as the child or any contestant continues to reside in the issuing state and the issuing state does not decline to exercise jurisdiction.

The federal Parental Kidnapping Prevention Act (PKPA) provides that a state may not modify a custody decree issued by another state if either the child or any party continues to reside in the issuing state and the issuing state’s courts do not decline to exercise jurisdiction. *See* 28 U.S.C. § 1738A(d). Under the Supremacy Clause, the PKPA takes precedence over any conflicting state law. *See, e.g., Murphy v. Woerner*, 748 P.2d 749 (Alaska 1988).

Virtually all states have now enacted the Uniform Child Custody Jurisdiction and Enforcement Act (UCCJEA), which contains custody-modification standards virtually identical to those of the PKPA. Under the UCCJEA, a state that properly issued a custody decree (here, State A) retains continuing, exclusive jurisdiction until all parties and the child have left the state, or until an issuing-state court has determined that there is no longer any significant connection between the child and the person remaining in the state and that substantial evidence is no longer available in that state. *See* UCCJEA § 202.

It is highly unlikely that a State A court would decline to exercise jurisdiction under UCCJEA § 202 because Husband remains in State A, Wife moved only two months ago, and Son and Husband had ongoing weekly contact until that time. Son thus maintains a significant connection with Husband and substantial evidence is still available in State A. Thus, if Wife wishes to

modify the custody arrangement, she must do so in State A; a State B court may not modify the custody decree.

Point Three: (25–35%)

Custody modification is based on a substantial change in circumstances. One parent's relocation that significantly impairs the other parent's ability to exercise his or her custodial rights represents a substantial change in circumstances. It is unclear whether the court will grant Husband's modification petition.

Because of the need to protect the best interests of a child, custody orders are subject to modification throughout the child's minority. But because stability and finality are also important values in child custody litigation, most states permit modification only when there has been a substantial change in circumstances since the original custody decree. *See* HARRY D. KRAUSE ET AL., FAMILY LAW: CASES, COMMENTS AND QUESTIONS 740–41 (6th ed. 2007). One parent's physical relocation that significantly impairs the other parent's opportunity to exercise custody and visitation rights provided in the divorce decree is almost invariably considered a substantial change in circumstances. *See id.*

Parental relocation is a common triggering factor in custody-modification cases, and “[t]his area of law has been unusually unstable. . . . [However, t]he clear trend has been that of increasing leniency toward the relocating parent with whom the child has been primarily living.” AM. LAW INST., PRINCIPLES OF THE LAW OF FAMILY DISSOLUTION: ANALYSIS AND RECOMMENDATIONS § 2.17, Reporter's Notes, cmt. d (2002). One group of states places the burden of proof on the relocating custodial parent and requires that parent to show that the move serves the child's best interests. *See Pollock v. Pollock*, 889 P.2d 633, 635 (Ariz. Ct. App. 1995). In some of these states, the relocating parent must additionally show that the move is for a legitimate purpose and reasonable in light of that purpose. *See, e.g.,* CONN. GEN. STAT. 46b–46d. Other states place the burden of proof on the objecting parent to show that the move does not serve the child's best interests; some additionally require the objecting parent to show that the move would be harmful to the child. *See, e.g., Pennington v. Marcum*, 266 S.W.3d 759, 768–69 (Ky. 2008) (best interests test applicable when modification petition brought more than two years after initial decree or when objecting parent seeks merely to preserve initial visitation schedule; harm standard applicable when custody modification petition brought within two years of initial decree); TENN. CODE ANN. § 36-6-108 (2005) (objecting parent must show that move is not for a reasonable purpose, that “relocation would pose a threat of specific and serious harm to the child that outweighs the threat of harm to the child of a change of custody,” or that parent's motive for moving is vindictive).

Some states, in joint-custody cases, apply standards that are more protective of the parent who is not relocating. *See, e.g., O'Connor v. O'Connor*, 793 A.2d 810 (N.J. Super. Ct. App. Div. 2002); OKLA. STAT. ANN. tit. 43 § 109(f) (best interests test applicable to modification of joint-custody order); TENN. CODE ANN. § 36-6-108 (2005) (best interests test applicable when parents share equal visitation). Even if State A does not have a special rule for joint-custody cases, relocation, of necessity, has a much larger impact when, as here, the parent who is not relocating has had more than 40 percent of total residential time with the child.

In this case, a number of facts support Husband's petition. Under the custody decree, Husband not only had joint custody, but Son resided with Husband more than 40 percent of each week. Wife's move 600 miles away precludes weekly visits by Husband, let alone substantial residential time with Son. Wife's move was not necessary; she could have stayed at her former employment. Ten-year-old Son undoubtedly had established school and social relationships that were disrupted by the move. Perhaps most important, Wife moved without notifying Husband or seeking court approval; Wife should have sought modification of the custody decree so as to accommodate her proposed move *before* physically removing Son from State A. Her failure to do so will certainly place her at a disadvantage in contesting Husband's modification petition.

On the other hand, some facts support Wife's relocation. Wife's relocation will provide Son with a higher family income and better access to his maternal relatives. There are no facts to suggest that Wife's move was motivated by vindictiveness.

It is thus possible, but not certain, that Husband will obtain modification of the custody decree.

[NOTE: An applicant's conclusion about case outcome is less important than his or her analysis of the relevant issues.]

Point Four: (15–25%)

Under UIFSA, State A has exclusive jurisdiction to modify the State A child support order. Although federal law forbids *retroactive* modification of the support order, a State A court may modify the order *prospectively* if it finds a substantial change in circumstances. It is possible that Husband could obtain elimination of his child support obligation if his petition for custody modification is granted.

Under UIFSA, an issuing state has continuing, exclusive jurisdiction to modify a support order if the child or any party continues to reside in that state and all parties do not consent to the jurisdiction of another forum. *See* UIFSA § 205. *See also* UIFSA § 603 (“[A] tribunal of this State shall recognize and enforce, but may not modify, a registered order if the issuing tribunal had jurisdiction.”). Because Husband continues to reside in State A, State A courts have exclusive jurisdiction to modify the State A child support order.

A State A court may not *retroactively* modify the child support order because federal law forbids retroactive modification in all circumstances. *See* 42 U.S.C. § 666(a)(9)(C).

If Husband succeeds in obtaining modification of the custody decree, a State A court might grant Husband *prospective* elimination of his child support obligation. In all states, modification of a support order is based on a finding that there has been a substantial change in circumstances that significantly reduces the child's need for support or the obligor's capacity to pay. *See* KRAUSE ET AL., *supra*, at 991. If Husband succeeds in obtaining modification of the custody decree, Wife would have residential time with Son for only eight weeks per year. This would certainly represent a substantial change in circumstances, as Wife would no longer be a custodial parent. Moreover, Wife's net monthly income has increased by \$1,000 per month. On these facts, a court could *prospectively* eliminate Husband's child-support obligation.

If Husband does not obtain modification of the custody decree, the court should not eliminate Husband's child support obligation. There is a strong public policy favoring the establishment and maintenance of legal support obligations, and even poor obligors whose income falls below a value that the state deems essential for self-support are typically required to make token child support payments. *See id.* at 905–06. A court might *reduce* Husband's support obligation based on Wife's increased income if that income is available to support Son. However, Wife's move to State B may have increased her expenses and, assuming that Husband does not obtain sole custody of Son, Son's increased residential time with Wife would almost certainly increase her child-related expenses. It is thus unclear whether a State A court would find that Wife's increased income warrants a prospective reduction in Husband's support obligation.

SECURED TRANSACTIONS I.B.; II.A.; III.A. & B.; IV.A. & B.; V.A.2.

ANALYSIS

- Legal Problems:
- (1) What is the nature of Leaseco's interest in the printing press?
 - (2) Did Bank have a right to repossess and sell the printing press?
 - (3) As between Bank and Leaseco, which has a superior interest in the proceeds of the sale of the printing press?
 - (4) Does Leaseco have the right to recover the printing press from Purchaser?

DISCUSSION

Summary

The "lease" transaction between Leaseco and Printco created a security interest, not a lease. Therefore, Leaseco's interest in the press is governed by Article 9. Leaseco's security interest in the press is unperfected because it did not file a financing statement or take any other steps to perfect its interest.

Bank also has a security interest in the press by virtue of its security agreement with Printco. Bank's security interest is perfected.

Bank's perfected security interest has priority over Leaseco's unperfected interest. As the \$50,000 recovered by the sale of the press did not fully cover Printco's debt to Bank, Bank is entitled to retain the \$50,000 proceeds of the sale and Leaseco is not entitled to any recovery from Bank.

Leaseco cannot recover the press from Purchaser. Bank's proper foreclosure sale of the press to Purchaser transferred all of Printco's rights in the press to Purchaser and also discharged both Bank's and Leaseco's security interests.

Point One: (25–35%)

Although Leaseco's arrangement with Printco was denominated a "lease," Leaseco actually transferred ownership of the press to Printco and retained an unperfected security interest.

Whether a transaction in the form of a lease actually creates a "true lease" or a security interest depends on the "economic realities" of the transaction, not on the form of the transaction or the supposed intent of the parties. *See* UCC § 1-203, Official Comments.

In this case, the lease transaction was structured so that Printco was obligated to pay an amount that would fully cover the cost of the printing press and also ensure Leaseco a 10% return. Moreover, Printco was not entitled to terminate the lease at any point prior to full performance. If Printco failed to perform, Leaseco could recover the printing press. If Printco performed, Printco could keep the printing press for the trivial sum of \$10. In economic reality, this was not a lease of the printing press at all. It was the economic equivalent of an installment sale of the press, with Leaseco's retained title constituting only a security interest (the right to recover the press if payments were not made, thereby securing Printco's obligation to pay the purchase price).

UCC § 1-203(b) identifies certain situations in which a transaction creates a security interest, not a lease. In particular, § 1-203(b)(4) explicitly states that "a transaction in the form of a lease creates a security interest if" lease payments must be made for the full term of the lease and are not subject to termination, *and* the lessee has an option to "become the owner of the goods . . . for nominal additional consideration" at the conclusion of the lease agreement. That is precisely the structure of the Printco-Leaseco contract, and therefore this transaction should be treated as a sale of the press with Leaseco retaining a security interest.

The fact that the lease agreement provided for title to remain in Leaseco's name is immaterial. *See* UCC § 9-202. Leaseco's interest in the press is a security interest and is governed by Article 9. Because Leaseco did not file a financing statement, its security interest is unperfected.

[NOTE: Examinees need not know the details of the UCC rules. However, they should realize that the form of the transaction is not controlling, and that a so-called "lease" will be treated as a security interest if the "economic realities" so dictate. They should also be able to identify some of the facts that are relevant to a resolution of this issue.]

Point Two: (20–30%)

Bank had a perfected security interest in the press and was entitled to repossess and sell the printing press.

In a signed agreement, Printco gave Bank a security interest in "all Printco's equipment, whether now owned or hereafter acquired." Bank advanced value to Printco by making a loan to Printco. Finally, Printco obtained rights in the printing press so that Bank's security interest attached to the press. A security interest attaches to collateral and is enforceable only if the debtor has rights in the collateral, but "limited rights in collateral, short of full ownership, are sufficient for a security interest to attach." UCC § 9-203(b), Official Comment 6. Here Printco had at least the right to possession of the press for the lease term.

In addition, because Bank filed its financing statement covering Printco's equipment, Bank's security interest was perfected. UCC § 9-310(a).

Following a debtor's default, a secured party may repossess and sell any collateral that secures its debt. *See* UCC §§ 9-609 (right to repossess), 9-610 (right to dispose of collateral by sale). As a secured party, Bank had the right to repossess and sell the printing press.

[NOTE: Moreover, the facts suggest that Bank fully complied with applicable laws: the repossession was peaceful, and the sale was made at a public auction, in a commercially reasonable manner, and after notice to the debtor.]

Point Three: (20–30%)

Because Bank's security interest was superior to Leaseco's, Bank has a superior claim to the proceeds of the sale of the printing press, and it need not share those proceeds with Leaseco unless the proceeds exceed the amount due to Bank.

Bank had a perfected security interest. Leaseco's interest was unperfected. A perfected security interest has priority over an unperfected security interest. UCC § 9-322(a)(2).

[NOTE: If Leaseco had filed a financing statement within 20 days of delivery of the printing press to Printco, it would have had a perfected purchase-money security interest with priority over Bank's general security interest. UCC § 9-324(a). The facts state that Leaseco did not make such a filing.]

When a secured party with priority disposes of collateral, the proceeds of that disposition are applied in the following order: (1) the expenses of the disposition, (2) satisfaction of the obligation owed to the disposing secured party, and (3) satisfaction of any obligation secured by a subordinate interest. *See* UCC § 9-615(a).

Because Bank had priority over Leaseco, Bank was entitled to use the proceeds from the sale of the collateral to cover its expenses and any amounts owed to it by Printco before making any payment to Leaseco. The amount recovered from the sale of all of Printco's collateral, including the printing press, was only \$75,000. The amount owed to Bank by Printco, on the other hand, was \$150,000 (plus the expenses of the disposition). Thus, the proceeds of the collateral did not fully satisfy Printco's obligations to Bank, and there was no surplus that Leaseco could claim. Leaseco therefore has no valid claim to any of the proceeds of the sale of the printing press.

Point Four: (15–25%)

Leaseco cannot recover the printing press from Purchaser because Bank's sale of the press to Purchaser discharged Leaseco's security interest and therefore eliminated its claim to the press.

A secured party's disposition of collateral after a debtor's default transfers the debtor's rights in the collateral to any transferee for value, and also discharges the secured party's interest in the collateral and "any subordinate security interest." UCC § 9-617(a).

Bank sold the printing press to Purchaser for \$50,000. As a good-faith buyer of collateral at a foreclosure sale, Purchaser is a "transferee for value," and has the rights set out in UCC § 9-617. Thus, Purchaser takes free of Leaseco's interest, because Leaseco's interest is nothing more than a "security interest" that is subordinate to Bank's interest. *See* UCC § 9-617(b).

CONTRACTS II.A. & C.; VII.D.

ANALYSIS

- Legal Problems:
- (1) Was Resident's promise to pay Sam \$1,000 supported by consideration?
 - (2) In the absence of bargained-for consideration, can Sam enforce Resident's promise under the material benefit (moral consideration) rule?
 - (3) In the absence of bargained-for consideration, can Sam enforce Resident's promise under the theory of promissory estoppel?

DISCUSSION

Summary

Sam cannot recover the \$1,000 under the theory that Resident's promise was supported by consideration as there is no evidence of a bargained-for exchange. Sam may be able to recover if the material benefit (or moral consideration) rule applies because Resident made the promise to pay \$1,000 in recognition of a benefit received. Sam may also be able to recover under the theory of promissory estoppel if he acted in reasonable reliance on Resident's promise. However, Sam may recover less than the full \$1,000 under both the material benefit rule and the theory of promissory estoppel.

Point One: (25–35%)

Sam cannot recover under the theory that Resident's promise was supported by consideration because that promise was not part of a bargained-for exchange.

To be legally enforceable, a promise generally must be supported by consideration, which is shown through bargained-for exchange. This means that the promisor must have sought and received something of legal value in exchange for the promise. *See* RESTATEMENT (SECOND) OF CONTRACTS § 71. Here, there was no bargained-for exchange.

Sam might argue that his action in rescuing the dog and/or Sam's promise to apply for paramedic training constitutes consideration for Resident's promise to pay \$1,000. However, neither of those arguments will prevail. Resident's promise to pay the \$1,000 was not made in exchange for Sam's rescue of the dog, but instead was made in recognition of that prior action. With regard to Sam's promise to apply for paramedic training, Resident did not seek that promise in exchange for the promise to pay the \$1,000. Resident's promise was not part of an exchange and therefore the consideration necessary to make Resident's promise legally enforceable is absent.

Point Two: (15–25%)

Sam may be able to recover if the material benefit (moral consideration) rule applies, but possibly may not receive the full \$1,000 Resident promised him.

Some states recognize an exception to the past consideration limitation in cases in which the promise is made after receipt of a significant benefit. This exception is set out in the Restatement (Second) of Contracts § 86 (the material benefit rule) and encapsulates cases in which moral consideration was found to provide a basis for recovery. The material benefit rule states that a promise not supported by consideration may be enforceable if it is “made in recognition of a benefit previously received by the promisor from the promisee” RESTATEMENT (SECOND) OF CONTRACTS § 86(1); *see Webb v. McGowin*, 168 So. 196 (Ala. 1935). Here, Resident promised to give Sam \$1,000 in recognition of Sam’s act of saving Resident’s dog. Thus, it could be argued that the material benefit rule applies because Resident received a benefit from Sam and made the promise to give Sam \$1,000 in recognition of that benefit.

However, the material benefit rule does not apply (and the promise is not enforceable) if the promisee conferred the benefit as a gift, or to the extent that the value of the promise is disproportionate to the benefit conferred. RESTATEMENT (SECOND) OF CONTRACTS § 86(2). Here, it is unclear whether Sam intended to confer a gift upon Resident. He may have been acting out of pure selflessness when he rescued the dog, or he may have believed that his heroic action would result in a financial reward.

Even if it is determined that Sam did not intend to confer a gift (and that Resident’s promise is therefore enforceable), a court might limit recovery to something less than the full \$1,000 if it finds that \$1,000 is disproportionate to the value of the rescue of the dog.

Point Three: (35–45%)

Sam may be able to recover some or all of the \$1,000 if the doctrine of promissory estoppel applies. Promissory estoppel requires that the promisee show that a promise existed, that a detrimental change in position was made in reasonable reliance on the promise, and that enforcement of the promise is the only way to avoid injustice.

The doctrine of promissory estoppel allows the enforcement of gratuitous promises to avoid harm to individuals who have relied on those promises. *See* RESTATEMENT (SECOND) OF CONTRACTS § 90. In order to establish a promissory estoppel claim, all of the following must be shown: (1) the promisor, when making the promise, should have reasonably expected that the promisee would change his position in reliance on the promise; (2) the promisee did in fact change position in reliance on the promise; (3) the change in position was to the promisee’s detriment and injustice can be avoided only by enforcing the promise. *Id.*

Here, the facts state that Resident promised to pay \$1,000. Sam did change his position in reliance on that promise by incurring a \$1,000 debt. Resident might argue that Sam’s applying to the cosmetology program was not reasonable reliance because the promise was specific to a different program—Resident said, “If you are going to start paramedic training, I want to help you.” However, Resident also said, “I want to compensate you for your heroism,” and Sam could

reasonably interpret that remark as indicating that Resident's promise to give him \$1,000 was a promise to compensate him for rescuing Resident's dog and was not conditioned on his career choice. Thus, it is possible that Sam could recover that portion of the \$1,000 promised by Resident that is determined to be the amount required to avoid injustice.

FEDERAL CIVIL PROCEDURE I.A.1., E.; IV.C.

ANALYSIS

- Legal Problems:
- (1) What steps must be taken to effect removal from state to federal court?
 - (2) Is the joinder of Ann and Bill as plaintiffs proper under the Federal Rules of Civil Procedure?
 - (3) If Ann's and Bill's claims remain joined, will the federal court have jurisdiction over the case?

DISCUSSION

Summary

To remove a case from state to federal court, the defendant must file a notice of removal with the federal district court, give written notice of that filing to all adverse parties, and file a copy of the notice of removal with the state court.

The joinder of Ann and Bill as plaintiffs would be proper under Federal Rule of Civil Procedure 20 because their claims for relief arose out of "the same transaction [or] occurrence" and involve a "common question" of law or fact.

The case is within the subject matter jurisdiction of a federal court in State X. Both Ann and Bill, citizens of State X, are diverse from GlassCo, which is a citizen of State Y (the state of its incorporation and principal place of business). Ann's claim for \$1,000,000 easily satisfies the required jurisdictional amount of \$75,000. Although Bill's claim does not satisfy the required jurisdictional amount, the federal court will have "supplemental jurisdiction" over Bill's claim because it is sufficiently related to Ann's claim to be part of the same "case or controversy."

Point One: (10–20%)

The defendant begins the process of removal by filing a notice of removal in the federal court "for the district and division within which [the state court action] is pending." Removal is then accomplished by giving notice of the filing to all adverse parties and filing a copy of the notice of removal with the state court.

Procedurally, the first step for removing an action from state to federal court is for the defendant to file a notice of removal in the federal district court for the district and division within which the state action is pending. 28 U.S.C. § 1446(a). The notice must be filed within 30 days of the defendant's "receipt . . . , through service or otherwise, of a copy of the initial pleading . . . , or within 30 days after the service of summons . . . if such initial pleading has then been filed and is

not required to be served . . . , whichever period is shorter.” *Id.* § 1446(b). The notice of removal must be signed and must include a statement of the basis for federal jurisdiction. *Id.* § 1446(a). A copy of the materials from the state court proceeding must also be filed. *Id.*

After filing the notice of removal, the defendant must serve notice of the filing on all adverse parties and file a copy of the notice of removal with the state court. *Id.* § 1446(d). Removal is “automatic.” Once the state court has a copy of the notice of removal, the case is removed and the state court can take no further action in the case. *Id.*

[NOTE: If the defendant removes the action to federal court, and the plaintiff wishes to contest the removal, the plaintiff must file a motion to remand.]

Point Two: (30–40%)

Federal Rule of Civil Procedure 20(a) permits the claims of Ann and Bill to be joined in a single action because those claims arose out of the “same transaction [or] occurrence” and involve “common questions” of law and fact.

Federal Rule of Civil Procedure 20(a)(1) provides that two or more plaintiffs may join their claims in a single lawsuit if the plaintiffs “assert any right to relief jointly, severally, or in the alternative with respect to or arising out of the *same transaction, occurrence* or series of transactions or occurrences; and . . . *any question of law or fact common to all plaintiffs [being joined] will arise in the action.*” (emphasis added)

Both requirements for joinder are met in this case. First, Ann and Bill are each asserting claims that arose out of a single occurrence—the accident involving the falling glass. Second, those claims will certainly raise some common questions of fact (e.g., whether the glass accident was caused by the negligence of GlassCo employees) and may also raise common questions of law (e.g., the legal standard for measuring damages). This is precisely the kind of case in which Rule 20 allows joinder of plaintiffs in the interest of promoting efficiency and consistency of results.

The fact that Ann and Bill are asserting separate claims and separate rights to relief does not matter. Rule 20 allows plaintiffs to join when they assert their rights to relief “severally.”

Point Three: (45–55%)

The federal court will have subject matter jurisdiction over the removed case because Ann’s claim is within the diversity jurisdiction of the court and Bill’s claim, although it does not satisfy the amount-in-controversy requirement for diversity jurisdiction, is within the federal court’s supplemental jurisdiction.

Removal of a case from state to federal court is proper only when the “civil action” that is removed is within the “original jurisdiction” of the federal court. 28 U.S.C. §1441(a).

In this case, Ann’s tort claim against GlassCo would be within the original diversity jurisdiction of the federal district court of State X. Ann and GlassCo are citizens of different states, and

Ann's claim for \$1,000,000 exceeds the \$75,000 amount-in-controversy requirement of the diversity statute, 28 U.S.C. § 1332.

Bill's tort claim, on the other hand, is not within the diversity jurisdiction of the court. Although Bill and GlassCo are diverse, Bill is seeking damages of only \$5,000, which is substantially less than the \$75,000 minimum amount-in-controversy for federal diversity actions.

Nonetheless, the federal court will have jurisdiction over Bill's claim pursuant to 28 U.S.C. § 1367, the "supplemental jurisdiction" statute. When a federal court has original jurisdiction over a claim in an action, § 1367(a) provides that the court "shall have supplemental jurisdiction over all other claims that are so related [to the main claim] that they form part of the same case or controversy under Article III of the United States Constitution."

On the facts of this problem, Bill's claim is sufficiently related to Ann's claim to be "part of the same case or controversy." Both claims arose out of a "common nucleus of operative fact" (the accident involving the glass) and are so similar in facts and law that it is sensible to expect them to be tried in a single judicial proceeding. *See, e.g., United Mine Workers of America v. Gibbs*, 383 U.S. 715, 725 (1966). Thus, the court has supplemental jurisdiction over Bill's claim. *See Exxon Mobil Corp. v. Allapattah Services, Inc.*, 545 U.S. 546 (2005).

CRIMINAL LAW AND PROCEDURE II.C.; III.A.1.; IV.A.; V.A. & E.

ANALYSIS

- Legal Problems:
- (1) Does John have standing to challenge the search of Crystal's parents' home and the seizure and search of the leather bag?
 - (2) Did the prosecution produce sufficient evidence to prove all of the elements of attempted armed robbery?
 - (3) Is "withdrawal," "abandonment," or "change of mind" a defense to a charge of an attempted crime?

DISCUSSION

Summary

John does not have a reasonable expectation of privacy in Crystal's parents' home and therefore does not have standing to challenge the legality of the search of that home. Nor can he claim a reasonable expectation of privacy in the leather bag and its contents since he turned it over to Crystal.

The trial court correctly denied the motion for judgment of acquittal. The prosecution presented sufficient facts to prove all the elements of attempted armed robbery. Specifically, the state showed that John had the intent to commit an armed robbery and that he had performed sufficient acts toward the commission of the robbery to have gone beyond mere preparation.

The trial court was probably correct to deny the motion for the jury instruction on abandonment. In many jurisdictions, abandonment is not a defense in any case in which an individual has committed sufficient acts to constitute an attempt, as John has in this case. Even in jurisdictions where abandonment is a defense, it must be a voluntary and complete renunciation by the defendant of the criminal scheme. John's decision not to complete the robbery was not due to his voluntary abandonment of his criminal purpose. It was the result of his accomplice's flight from the scene.

Point One: (30–40%)

John does not have standing to challenge the search of Crystal's parents' home because he lacks a reasonable expectation of privacy in that home. Similarly, he cannot challenge the seizure of his bag and the search of its contents because he had surrendered control of the bag to Crystal and therefore had no reasonable expectation of privacy in its contents.

Although the police did not have a warrant, Crystal's mother consented to the search of her home when she let them in after they stated that they could get a warrant. Even if her consent to the

search of her home was considered coerced or involuntary and therefore invalid, John could not raise the issue. In *Rakas v. Illinois*, 439 U.S. 128 (1978), the Supreme Court of the United States held that only those who are actual victims of the alleged Fourth Amendment violation have “standing” to challenge it. As the Court put it, “[a] person who is aggrieved by an illegal search and seizure only through the introduction of damaging evidence secured by a search of a third person’s premises or property has not had any of his Fourth Amendment rights infringed.” *Id.* at 134. Here, John can claim no reasonable expectation of privacy in his girlfriend’s family’s home.

Similarly, a person challenging a seizure and search of an object such as a bag must have a reasonable expectation of privacy in the object seized and searched. John cannot claim that he had a reasonable expectation of privacy in his bag found in Crystal’s closet. While he might have a property interest in the bag, he surrendered his reasonable expectation of privacy in the bag when he turned the bag over to Crystal and asked her to “get rid of it.” See *Rawlings v. Kentucky*, 448 U.S. 98 (1980). Once John gave the bag to Crystal, he had no way to control who had access to his bag and how Crystal was to dispose of it.

Accordingly, the trial judge correctly denied John’s motion to suppress the bag and its contents.

Point Two: (30–40%)

The prosecution produced sufficient evidence to prove that John intended to commit an armed robbery and that he committed acts going “beyond mere preparation” and constituting an attempt to commit the robbery.

A motion for judgment of acquittal should be granted only if the prosecution has failed to present sufficient evidence for a reasonable jury to find that the defendant committed each element of the charged offense beyond a reasonable doubt. *Jackson v. Virginia*, 443 U.S. 307, 319 (1979); *State v. Thompson*, 88 S.W.3d 611, 614–15 (Tenn. Crim. App. 2000). In this case, there is more than enough evidence to support a conviction for attempted armed robbery.

In order to prove that John attempted an armed robbery, the prosecution must prove two elements. First, the prosecution must prove that John intended to commit an armed robbery. Second, the prosecution must prove that John’s actions went sufficiently beyond “mere preparation” to constitute an actual “attempt” to commit the crime. See MODEL PENAL CODE § 5.01.

As to John’s intent, the e-mails and the testimony of the clerk and Crystal provide ample evidence that John planned to either use a weapon or threaten the imminent use of a weapon against the store clerk to compel the store clerk to turn over money. This evidence shows clearly that John intended to commit the essential elements of armed robbery—he intended to use force or the threat of force to steal the property of another. Accordingly, the prosecution has more than met its burden of proving that John intended to commit armed robbery.

The evidence is also sufficient to show that John’s actions to carry out his plan went beyond “mere preparation” and constituted an actual “attempt” to commit the crime. States use various tests for determining when a defendant’s conduct has gone far enough to constitute an attempt to

commit a crime. Some state courts say that the actor's conduct must be "proximate" to the crime; others say that it must be "dangerously proximate" to the crime. The Model Penal Code requires only that a defendant's conduct be a "substantial step" toward commission of the crime and corroborative of his criminal intent. JOSHUA DRESSLER, *UNDERSTANDING CRIMINAL LAW* § 27.09 (4th ed. 2006). Some states say that the defendant's behavior must "unequivocally" manifest the criminal intent. *See id.* § 27.06.

In this case, the prosecution's evidence demonstrates that John's conduct went beyond mere preparation and constituted an attempt. John's behavior—loading a gun, taking it into a store, and approaching the store clerk—ought to satisfy any test of proximity: John was dangerously close to completing his crime. Moreover, the conduct on its face bespeaks an intention to rob the store clerk by force or threat of force, and the clerk said that he thought John intended to rob him. Indeed, from all the facts, it appears that John would have robbed the clerk but for the fact that John's accomplice started to cry and left the store. Most courts would find that these actions were "near enough to the accomplishment of the substantive offense to be punishable." *Commonwealth v. Peaslee*, 59 N.E. 55, 56 (Mass. 1901); *see also People v. Terrell*, 443 N.E.2d 742 (Ill. Ct. App. 1982); *State v. Stewart*, 420 N.W.2d 44 (Wis. 1988).

Point Three: (20–30%)

Although John left the Minit Mart without completing the robbery, the circumstances of his departure do not support a defense of withdrawal or abandonment.

In most jurisdictions, voluntary withdrawal or abandonment is not a defense to the crime of attempt once the actor's conduct has gone beyond mere preparation. *See Dixon v. State*, 559 So. 2d 354, 355–56 (Fla. Dist. Ct. App. 1990); DRESSLER, *supra*, § 27.08. In those jurisdictions, if John's conduct had gone far enough toward completion of a crime to constitute an attempt, he would be guilty of attempt even if he subsequently decided to renounce his criminal plans completely and voluntarily. *See, e.g., Stewart*, 420 N.W.2d at 49–51. In a jurisdiction taking this view of attempt, the court was correct to refuse a jury instruction on the defense of abandonment because no such defense exists.

A minority of jurisdictions take the view that the abandonment of an attempt before the crime is completed is an affirmative defense. However, the abandonment must be utterly voluntary. An abandonment that is the result of any extrinsic factor is not considered voluntary. *Wilkinson v. State*, 670 N.E.2d 47, 49 (Ind. Ct. App. 1996) (passing out from intoxication not voluntary abandonment of an attempted crime).

Here, John abandoned the robbery only after his 14-year-old accomplice got scared and ran out of the store. Whether his decision to leave the store without completing the robbery was motivated by a concern for Crystal, a belief that he needed her participation, or some other factor, it was taken in response to Crystal's behavior and was not an entirely voluntary decision by John. It does not satisfy the requirements for the abandonment defense, and the trial judge was correct to deny an instruction on that defense.

AGENCY AND PARTNERSHIP V.A. & B.; VI.

ANALYSIS

- Legal Problems:
- (1) What type of entity is the “Metropolitan Limited Partnership”?
 - (2) Can Marketing recover from Andy, Ben, and Carol in their individual capacities for the amounts it is owed by MLP and what steps must it follow if it tries to do so?
 - (3) Can Zack’s estate recover from Andy, Ben, and Carol in their individual capacities for the wrongful death claim?

DISCUSSION

Summary

Despite being labeled a limited partnership, the Metropolitan Limited Partnership (MLP) is not a limited partnership because it lacks a general partner. Even though a Certificate of Limited Partnership was ultimately filed, that filing does not create a limited partnership when no general partner has signed the partnership agreement. By their actions in buying the land and arranging for the marketing of the venture’s property, Andy, Ben, and Carol acted as co-owners of a business for profit and thereby formed a general partnership.

As partners in a general partnership, Andy, Ben, and Carol are each personally liable for partnership debts. Marketing can recover from Andy, Ben, and Carol in their individual capacities for the amounts it is owed by MLP if Marketing first obtains a judgment against each of Andy, Ben, and Carol and against MLP and levies execution on MLP’s assets.

Zack’s estate can recover for the wrongful death claim from Andy, Ben, and Carol in their individual capacities if it follows the same procedures. The fact that the Certificate of Limited Partnership was filed before Zack’s claim arose does not change this result because that filing did not create a limited partnership.

Point One: (35–45%)

Metropolitan Limited Partnership is not a limited partnership, but is a general partnership.

Despite being labeled a limited partnership, MLP is not a limited partnership. Although Andy, Ben, and Carol may have intended to form a limited partnership, they did not succeed in doing so. To create a valid limited partnership, statutory requirements must be met. A limited partnership must include a general partner who has signed the initial Certificate of Limited Partnership filed with the Secretary of State. UNIF. LTD. P’SHIP ACT §§ 201(a)(3), 204, 801(4) (1976 with 1985 amendments). Here, Warren was designated as the general partner, but never

signed the agreement. Thus, MLP never had a general partner and cannot qualify as a limited partnership.

Further, to create a limited partnership, a certificate of limited partnership must be filed with the state. *Id.* § 201. Here, such a certificate was not initially filed. Even though Andy, Ben, and Carol did ultimately file the Certificate of Limited Partnership, their failure to obtain the signature of a general partner prevents the formation of a limited partnership.

Instead, the venture is a general partnership. Andy, Ben, and Carol were acting as co-owners of a business for profit. As such, they formed a partnership whether or not they subjectively intended to. *See* UNIF. P'SHIP ACT (1997) § 202(a) (“... the association of two or more persons to carry on as co-owners a business for profit forms a partnership, whether or not the persons intend to form a partnership.”). As is the case here, individuals can inadvertently form a general partnership notwithstanding their expressed intention to do something else, in this case to form a limited partnership. *See id.* § 202 cmt. 1 (“Indeed, they may inadvertently create a partnership despite their expressed subjective intention not to do so.”).

Had Andy, Ben, and Carol done nothing more than purchase property, they might have avoided a partnership designation under the Uniform Partnership Act which states that neither “common property” nor “part ownership” alone is enough to establish a partnership. *See id.* § 202(c). However, in addition to owning the property, Andy, Ben, and Carol hired a marketing company to develop a campaign to resell the land as “Metropolitan Estates.” This exceeds co-ownership and thus Andy, Ben, and Carol are general partners and MLP is a general partnership.

Point Two: (35–45%)

Because MLP is a general partnership and Andy, Ben, and Carol are general partners in that partnership, as such, each is personally liable for partnership debts, including the amounts owed to Marketing. However, to collect from Andy, Ben, and Carol personally, Marketing must first obtain a judgment against Andy, Ben, and Carol individually and against MLP and levy execution against MLP's assets.

As partners in the general partnership that owns the property, Andy, Ben, and Carol “are liable jointly and severally for all obligations of the partnership unless otherwise agreed by the claimant or provided by law.” *See* UNIF. P'SHIP ACT (1997) § 306(a). There being no agreement or statutory provision to the contrary, Andy, Ben, and Carol are jointly and severally liable for Marketing's claim.

However, to collect from Andy, Ben, and Carol personally, Marketing must first obtain a judgment against Andy, Ben, and Carol individually and against MLP and levy execution against MLP's assets. Ordinarily, a claimant may not take action against a partner's separate assets unless the partnership assets fail to satisfy the claimant's judgment. *See id.* § 307(d). Moreover, under the Uniform Partnership Act, a judgment against a partnership is not, by itself, a judgment against a partner. Consequently, a judgment against a partnership may not be satisfied out of the partner's separate assets unless there is also a judgment against the partner. *See id.* § 307(c). A

judgment against a partner personally may be sought in the same action as a judgment against the partnership.

Here, if these procedures are followed and MLP's assets fail to satisfy Marketing's claim, Marketing may recover from Andy, Ben, and Carol personally.

Point Three: (10–20%)

Andy, Ben, and Carol are each personally liable for the wrongful death claim even though that claim arose after they filed the Certificate of Limited Partnership, because the limited partnership did not have a general partner.

As general partners, Andy, Ben, and Carol are jointly and severally liable for the wrongful death claim. (*See* Point Two.) Although the wrongful death claim arose after the Certificate of Limited Partnership was filed in the name of Metropolitan, that filing does not protect Andy, Ben, and Carol because it failed to create a limited partnership due to the lack of a general partner. (*See* Point One.) Therefore, the act of filing is irrelevant, and Andy, Ben, and Carol are jointly and severally liable for the wrongful death claim. To recover from them, Zack's estate must follow appropriate procedures. (*See* Point Two.)

DECEDENTS' ESTATES I.B. & C.; II.J.3. & 4.; Trusts I.C.; II.D.

ANALYSIS

- Legal Problems:
- (1) Is Testator's will invalid because it was the product of undue influence?
 - (2) Is Testator's will invalid because it was induced by fraud?
 - (3) If Testator's will is valid, did Friend effectively exercise her general power of appointment over trust assets with the general residuary clause in her will?
 - (4) If Testator's will is invalid, who are Testator's heirs?

DISCUSSION

Summary

If a will was procured through undue influence or induced by fraud, it is invalid. In this case, the facts, if proven at trial, would not establish undue influence but would establish that Testator's will was induced by fraud in the execution. If the will is valid, under the majority view, Testator's estate will probably pass to Charity following Friend's death because Friend did not effectively exercise her power of appointment by the general residuary clause in her will. If Testator's will is invalid, his estate passes to Niece if the intestacy statute utilizes the parentelic method of determining heirship and to both Niece and Uncle if the statute utilizes the civil law consanguinity method. If only the general power of Friend is set aside as a product of either undue influence or fraud but the court rules that the remaining provisions of Testator's will are valid, then Charity takes.

Point One: (20–30%)

The facts do not establish that Testator's will is invalid as the product of undue influence.

A will is invalid if it was executed as the result of undue influence. Undue influence occurs when the "wrongdoer exerted such influence over the [testator] that it overcame the [testator's] free will and caused the [testator] to make a donative transfer that the [testator] would not otherwise have made." RESTATEMENT (THIRD) OF PROPERTY (WILLS AND OTHER DONATIVE TRANSFERS) § 8.3(b).

The burden of establishing undue influence is on the will contestant, who must show that (1) the testator was susceptible to undue influence, (2) the alleged influencer had the opportunity to exert undue influence upon the testator, (3) the alleged influencer had a disposition to exert

undue influence, and (4) the will appears to be the product of undue influence. *See id.* at cmt. e. *See also Estate of Kamesar*, 259 N.W.2d 733, 737–38 (Wis. 1977).

In this case, there are facts showing that Friend had both the opportunity and the disposition to exert undue influence. Friend and Testator were intimates over a two-year period. Friend showered Testator with affection. Friend told Brother that she would “be generous” to him if Testator left her everything, suggesting her desire to influence Testator’s will.

It is less clear that Testator was susceptible to undue influence. Susceptibility is typically based on “age, personality, physical and mental health, and ability to handle business affairs.” *Kamesar*, 259 N.W.2d at 738. Testator was 70 years old and a successful business executive. There is no evidence that he was in poor physical or mental health. On the other hand, Testator does seem to have been influenced by Friend’s demonstrations of affection, interest, and commitment.

The more important weakness in a will contest based on undue influence is the fact that neither Friend nor Brother attempted to persuade Testator to give Friend a general power of appointment or bequeath other assets to her, nor did they attempt to dissuade Testator from making bequests to others or interfere with his relationships. Instead, Brother used deception to achieve Friend’s goal of obtaining control of Testator’s assets. While this deception is important to a claim of fraud (*see* Point Two), it does not fit the usual pattern of undue influence claims.

Point Two: (20–30%)

Because the facts establish that Testator’s will was induced by fraud in the execution, it is invalid in whole or in part.

A will or provision in a will procured by fraud is invalid. Fraud occurs when a testator is deceived by a misrepresentation and is thereby led to execute a will that the testator would not otherwise have made. Most courts additionally require a finding that the misrepresentation was made with the intent to deceive the testator and for the purpose of influencing the testamentary disposition. *See* JESSE DUKEMINIER & STANLEY M. JOHANSON, *WILLS, TRUSTS, AND ESTATES* 213 (6th ed. 2000). Fraud in the inducement occurs when a person misrepresents facts—for example, whether a proposed beneficiary is alive. Fraud in the execution occurs when a person misrepresents the character or contents of the instrument signed by the testator. *Id.* at 214–15.

The facts of this case support a finding of fraud in the execution. Testator told Brother that he wanted to leave the trust remainder to Charity. Brother told Testator that the will he had drafted was in accordance with Testator’s instructions. It was not, because the will gave Friend a general power of appointment over trust assets; she could appoint those assets to herself and deprive Charity of the remainder. Because Friend told Brother that she wanted the will to leave her “everything,” the evidence supports a finding that Brother intended to deceive Testator. If the will contestant succeeds in establishing these facts at trial, the court should invalidate the will.

If the court finds that the will was tainted by fraud or undue influence, it may invalidate the entire will or only those portions “infected” by the fraud or undue influence. *See Williams v.*

Crickman, 405 N.E.2d 799 (Ill. 1980). As there are no facts to suggest that Friend or Brother played a role in the selection of Charity as taker in default, a court might invalidate the general power alone, leaving Charity as the residuary taker.

Point Three: (20–30%)

If Testator's entire will is valid, whether Charity or Sister takes Testator's estate depends on whether Friend effectively exercised her general power of appointment. Under the majority view, a residuary clause in a will that makes no reference to the power is an ineffective exercise.

If fraud cannot be proven and Testator's entire will is valid, Friend's lifetime interest in the trust and general power of appointment would be valid also. Whether Charity or Sister takes the trust principal depends on whether Friend, who survived Testator, effectively exercised her general power.

Whether a power is effectively exercised depends on the donee's intent and any formalities mandated by the donor. *See* RESTATEMENT (SECOND) OF PROPERTY (DONATIVE TRANSFERS) § 17.1. In this case, the donor required no formalities. However, since the donee's (i.e., Friend's) will does not specifically refer to the power, it is unclear whether she intended to exercise her general power. Under the majority approach, also followed by the Restatement of Property, a residuary article in a donee's will that makes no reference to a power of appointment is not an effective exercise of a general power. *See id.* § 17.3. Under this approach, Charity, the taker in default of appointment, would take Testator's estate because Friend did not effectively exercise the power of appointment. Under the minority view, a general residuary clause does effectively exercise a power of appointment. If this approach is followed, Sister would take Testator's estate.

[NOTE: Friend survived Testator by a week; thus, under the Uniform Probate Code and the Simultaneous Death Act, she survived Testator because she survived him by 120 hours. If the state has the old version of the Uniform Simultaneous Death Act, Friend might be deemed to have predeceased Testator if they are viewed as having died in a common accident or disaster. In such a case, Charity takes as well.]

Point Four: (15–25%)

If Testator's entire will is invalid, Testator's entire estate would pass to Niece under the parentelic method of determining heirship, but it would pass equally to Niece and Uncle under intestacy schemes governed by the civil law consanguinity method.

If the court finds that Testator's entire will is the product of fraud, his estate will be distributed based on state rules of intestate succession. Had the accident taken place after Testator and Friend were married, Friend would have taken Testator's entire estate. But given that the wedding had not yet taken place, no state grants Friend a share of Testator's assets.

Under the so-called parentelic method of determining heirship employed in the Uniform Probate Code and most state intestacy rules, the issue of an intestate's parents take to the exclusion of

any issue of the intestate's grandparents. Niece is a grandchild of Testator's parents; Uncle is a child of Testator's grandparents. Thus, Niece takes to the exclusion of Uncle. *See* UNIF. PROBATE CODE § 2-103. Under the civil law consanguinity method employed in a minority of jurisdictions, Niece and Uncle would share equally because both of them are in the third degree of consanguinity to Testator.

[NOTE: An applicant might argue that only a portion of the will, the power of appointment, is invalid due to fraud. In such a case, the power would be excised from the will and upon Friend's death the trust assets would pass to Charity.]

2010
MEE Questions
and Analyses

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the February 2010 MEE. Each test includes nine questions; most jurisdictions that use the MEE select six questions for their applicants to answer. In the actual test, the questions are simply numbered rather than being identified by area of law. The instructions for the test appear on page iii. For more information, see the *MEE Information Booklet*, available on the NCBE website at www.ncbex.org.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions for the sole purpose of assisting graders in grading the examination. For the February 2010 MEE, suggested percentage weights for question subparts are now expressed in specific values, not in a 10-point range. The model analyses are not an official grading guide. Some states grade the MEE on the basis of state law, and jurisdictions are free to modify the analyses, including the suggested weights given to particular points, as they wish. Grading of the MEE is the exclusive responsibility of the jurisdiction using the MEE as part of its admissions process.

The topics covered by each question are listed on the first page of its accompanying analysis, followed by roman numerals which refer to the MEE subject matter outline for that topic. For example, the Federal Civil Procedure question on the February 2010 MEE tested the following areas from the Federal Civil Procedure outline: I.A.1., jurisdiction and venue—subject matter jurisdiction—federal courts, and IV.C., pre-trial procedures—joinder of parties and claims (including class actions). Subject matter outlines are included in the *MEE Information Booklet*.

Description of the MEE

The MEE is a series of essay questions, any of which a jurisdiction may select to include as a part of its bar examination. Applicants are expected to spend approximately 30 minutes answering each MEE question administered. The areas of law that may be covered by the questions on any MEE are Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Conflict of Laws, Constitutional Law, Contracts, Criminal Law and Procedure, Evidence, Family Law, Federal Civil Procedure, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Uniform Commercial Code (Negotiable Instruments (Commercial Paper); Secured Transactions). Some questions may include issues in more than one area of law.

The purpose of the MEE is to test the applicant's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the applicant to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test form contains the following instructions:

Do not break the seal on this booklet until you are told to begin.

Each question is designed to be answered in 30 minutes. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions to follow.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Your jurisdiction may instruct you to answer MEE questions according to the law of the jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

February 2010 MEE

► *Questions*

Secured Transactions

Real Property

Family Law

Torts

Corporations

Federal Civil Procedure

Evidence

Trusts

Negotiable Instruments

SECURED TRANSACTIONS QUESTION

Six months ago, Kitchenware, a manufacturer of copper cookware, borrowed \$200,000 from Bank and signed a security agreement granting Bank a security interest in “all inventory that Kitchenware now owns or that it manufactures or acquires in the future.” Bank filed a properly completed financing statement reflecting this security interest in the appropriate state office.

Copperco is a company that produces high-quality copper sheet that is suitable for fabrication into cookware. Two months ago, Kitchenware entered into a contract with Copperco to buy two tons of copper sheet to be used by Kitchenware to produce cookware. The contract, which was signed by both parties, required Copperco to deliver the copper sheet to Kitchenware’s factory in two installments, one ton in the first installment and the second ton 30 days later. Kitchenware was to pay for each of the installments separately, with one-half of the contract price due 25 days after the first delivery and the balance due 25 days after the second delivery. Copperco’s obligation to ship the second installment was expressly made conditional on full payment for the first installment. The parties further agreed that Kitchenware would have no rights in an installment of the copper sheet until it received delivery of that installment and that Copperco would retain title to all the copper sheet until Kitchenware paid the full contract price.

Copperco promptly delivered the first ton of copper sheet to Kitchenware’s factory. Twenty-three days after the delivery, Copperco loaded its truck with a second ton of copper sheet for delivery to Kitchenware’s factory and planned to send the truck to Kitchenware in time to meet its delivery deadline. However, by 25 days after the first delivery, Kitchenware had not paid for the first installment of copper sheet. As a result, Copperco exercised its right under the contract to withhold shipment of the second installment and, accordingly, the truck with the second ton of copper sheet never left Copperco’s plant.

Kitchenware has defaulted on its loan from Bank, and Bank would like to exercise its rights with respect to its collateral. The first ton of copper sheet delivered to Kitchenware is still at Kitchenware’s factory, and the second ton of copper sheet that was not delivered to Kitchenware is still at Copperco’s plant. Bank believes it has a security interest in both tons of copper sheet, while Copperco asserts that it has title to both tons of copper sheet and that its rights are superior to any rights of Bank.

1. As between Copperco and Bank, which has the superior claim to the first ton of copper sheet that was delivered to Kitchenware? Explain.
2. As between Copperco and Bank, which has the superior claim to the second ton of copper sheet, which is still at Copperco’s plant? Explain.

REAL PROPERTY QUESTION

In 1960, Owen, the owner of vacant land, granted a power-line easement over the land to an electric company by a properly executed written instrument. This easement was never recorded. Consistent with the easement, the electric company erected power lines over the land. The power lines and supporting poles remain on the land.

In 1961, Owen granted an underground gas-line easement on the land to a gas company by a properly executed written instrument. This easement was never recorded. Consistent with the easement, the gas company dug trenches, laid pipes, and restored the surface of the land to its pre-installation condition.

In 1970, Owen conveyed the land to Abe by a full covenant and warranty deed that made no mention of the easements. The Owen-to-Abe deed was promptly and properly recorded. Abe paid full value for the land and had no actual knowledge of the two easements Owen had previously granted.

In 1995, Abe conveyed the land to Bob by a full covenant and warranty deed that made no mention of the easements. The Abe-to-Bob deed was promptly and properly recorded. Bob, who paid full value for the land, knew of the underground gas line because he had helped dig the trenches on the land. Bob had not visited the portion of the land crossed by the power lines and had no actual knowledge of the power-line easement.

In 2009, Bob decided to build a house on the land and hired an engineer to evaluate the proposed building site. Following an inspection of the proposed site, the engineer told Bob that each easement precluded building on the site.

Relevant state statutes provide

- (1) "A conveyance of real property is not valid against any subsequent purchaser who, without notice, purchases said real property in good faith and for valuable consideration," and
- (2) "Easements by prescription are abolished."

1. Did Bob take the land subject to the power-line easement? Explain.
2. Did Bob take the land subject to the gas-line easement? Explain.
3. Assuming Bob took the land subject to either easement, may Bob obtain damages from Owen based upon a breach of the covenant against encumbrances? Explain.

FAMILY LAW QUESTION

Harry and Wendy married when they were both 23, shortly after Harry began his first year of law school. They decided that Wendy, who had completed two years of college, would temporarily quit college and get a full-time job until Harry started practicing law.

Wendy obtained a full-time job as a supermarket cashier. All of her earnings were used for Harry's and Wendy's support. Harry did not work during the school year but worked full-time during summers. All of Harry's earnings were used to pay his law school tuition.

Harry recently earned his law degree, passed the bar examination, and began working as a public defender.

Last month, after three years of marriage, Harry told Wendy that he felt they had drifted apart and that he wanted a divorce. Although deeply hurt, Wendy decided to separate amicably. Harry and Wendy had no children.

Harry suggested that he draw up a settlement agreement in order to avoid the expense of hiring a lawyer. Harry proposed that each spouse keep his or her own personal property and that he bear full responsibility for his educational loans. Harry also told Wendy that a divorce court would "definitely not impose any further obligations" on him because there were no children of the marriage. Wendy agreed to the terms of the settlement agreement proposed and prepared by Harry, and both parties signed it. In the agreement, each spouse waived "any and all rights to the past or future income of the other party."

Thereafter, following Harry's instructions, Wendy filed a petition for a no-fault divorce, requesting that the court incorporate their settlement agreement into the final divorce decree.

Prior to any hearing on the petition, Wendy learned that Harry had been involved in an adulterous relationship with another woman. Angry and mistrustful, Wendy contacted an attorney, who urged her to amend her divorce petition. The attorney suggested that Wendy petition the court to invalidate the settlement agreement, seek a divorce on grounds of adultery, and request alimony and a cash award representing her share of the value of Harry's law license, which he acquired during the marriage.

State law does not authorize reimbursement alimony.

1. Should the court invalidate the settlement agreement? Explain.
2. What, if any, are the advantages to Wendy of obtaining a divorce based on Harry's adultery instead of on no-fault grounds? Explain.
3. Assuming the court invalidates the settlement agreement, can Wendy obtain
 - a) a cash award representing her share of the value of Harry's law license? Explain.
 - b) alimony? Explain.

TORTS QUESTION

Penny lives in an apartment on Oak Street across from the Fernbury Baseball Park (“the Park”). The Park is owned and maintained by the Fernbury Flies, a professional minor league baseball team. As she left her apartment building one day, Penny was struck in the head by a baseball that had been hit by Dennis, a Flies player, during a game.

The section of Oak Street that adjoins the Park was once lined with single-family homes. Over the past two decades, these homes have been replaced by stores and apartment buildings, causing an increase in both car and pedestrian traffic on Oak Street.

The ball that struck Penny was one of the longest that had been hit at the Park since its construction 40 years ago. During the last 40 years, Flies’ records show that only 30 balls had previously been hit over the Park fence adjoining Oak Street. Fifteen of the balls hit out of the Park onto Oak Street were hit during the past decade.

The Park is surrounded by a 10-foot-high fence, which was built during the Park’s construction. All other ballparks owned by clubs in the Flies’ league are surrounded by fences of similar type and identical height. These fences are typical of those used by other minor league teams in the United States. However, in Japan, where ballparks are often located in congested urban neighborhoods, netting is typically attached to ballpark fences. This netting permits balls to go over a fence but captures balls before they can strike a bystander or car.

After being struck by the ball, Penny was taken by ambulance to a hospital emergency room. After tests, the treating physician told Penny that she had suffered a concussion. The physician prescribed pain medication for Penny. However, because of a preexisting condition, she had an adverse reaction to the medication and suffered neurological damage resulting in the loss of sensation in her extremities.

Penny has sued Dennis, the player who hit the baseball that struck her, for battery and negligence. Penny has also sued the Fernbury Flies. She seeks to recover damages for the concussion and the neurological damage resulting from the medication.

1. Does Penny have a viable tort claim against Dennis? Explain.
2. Does Penny have a viable tort claim against the Fernbury Flies? Explain.

CORPORATIONS QUESTION

Smith owns 10% of the common shares of Omega, Inc., a closely held corporation. Baker and Jones each own 45% of Omega's common shares. Baker and Jones also serve on Omega's board of directors and are paid corporate officers.

Omega has not paid a dividend on its common shares for several years. Smith, who is not an officer of the corporation and has never received a salary from the corporation, is very unhappy that no dividends are being paid.

When Smith complained to Baker and Jones about nonpayment of dividends, they said that while Omega could legally pay dividends, it has not done so in order to retain the corporation's earnings for expansion of the business. They also pointed to data showing that Omega's business has expanded considerably in the past several years, financed entirely through undistributed earnings, and told Smith that he should "go away and let us run the show." Smith complained that "only you are enjoying the fruits of Omega's success." In response to an inquiry from Smith, Baker and Jones refused to reveal the amounts of their salaries, even though those salaries are within industry range.

Baker and Jones each offered to purchase all of Smith's shares for \$35 per share. Smith suspects that the shares are worth more than \$35 per share. Smith has asked to inspect Omega's corporate books and records in order to determine the value of his shares, but Jones and Baker have refused to give Smith access to any corporate records.

Smith has asked your law firm the following questions:

1. Does Smith have a right to inspect Omega's corporate books and records to determine whether \$35 per share is a fair price for his shares? Explain.
2. If Smith brings a suit to compel the payment of a dividend, must Smith first make a demand on the corporation? Explain.
3. If Smith brings a suit to compel the payment of a dividend, is that suit likely to be successful? Explain.

FEDERAL CIVIL PROCEDURE QUESTION

Husband is an American citizen domiciled in State A. Wife is a citizen of a foreign country who was admitted to permanent residency in the United States five years ago and has been domiciled in State A since then.

After struggling with infertility, Husband and Wife consulted with Doctor, who created embryos in a laboratory using Husband's sperm and Wife's ova. Husband and Wife then entered into a surrogacy contract with Surrogate, a domiciliary of State B. Pursuant to the contract, Surrogate agreed to carry the couple's embryo, to relinquish to them any child born as a result of the implantation, and to waive any and all parental and/or custodial rights to the child. Husband and Wife also agreed, jointly and severally, to pay all of Surrogate's expenses and to assume custody and full financial and legal responsibility for any child born as a result of the implantation.

Doctor implanted one of the embryos in Surrogate. Surrogate gave birth to a baby in State A and listed Husband and Wife as the parents on the baby's birth certificate. Husband and Wife obtained a judgment from a State A court declaring that they were the legal parents of the baby and were entitled to sole custody.

The baby had serious medical problems at birth and remained in the State A hospital for three months. When the baby left the hospital, she went home with Husband and Wife. Surrogate returned to her home in State B.

The hospital sent the bill for the baby's medical care, which exceeded \$500,000, to Surrogate. Surrogate has medical insurance with Insureco, an insurance company incorporated under the laws of State A with its principal place of business in State C. Surrogate's insurance policy covers all reasonable and necessary medical expenses incurred by Surrogate and her dependent(s), including "any natural child of Surrogate born after the policy is in force." However, Surrogate's policy expressly provides that Insureco will not cover expenses if a third party is liable for those expenses.

Insureco has refused to pay the baby's medical bill on the grounds that she is not a "natural child" of Surrogate within the meaning of the insurance policy and that the baby's expenses are Husband and Wife's responsibility.

Husband and Wife have also refused to pay the bill, claiming that they cannot afford to pay it and that the surrogacy contract is unenforceable under the applicable state law.

Surrogate has filed suit in the federal district court of State A against Insureco, Husband, and Wife. Surrogate alleges that Husband and Wife breached the surrogacy contract and that Insureco breached the terms of the insurance policy. Surrogate seeks to compel any or all of the defendants to pay the \$500,000 hospital bill.

The defendants have moved to dismiss the action on the grounds that (i) the federal court lacks jurisdiction over the case, (ii) the case involves state-law domestic-relations issues (i.e., the biological parentage of the child and the enforceability of a surrogacy contract) that are

Federal Civil Procedure Question

inappropriate for resolution by a federal court, and (iii) Surrogate improperly joined her separate claims against Insureco, on the one hand, and Husband and Wife, on the other, in a single action.

1. Does the federal district court of State A have subject-matter jurisdiction over Surrogate's claims? Explain.
2. Should the federal district court of State A dismiss the action because it involves domestic-relations issues? Explain.
3. Did Surrogate properly join Insureco, Husband, and Wife as defendants in a single action? Explain.

EVIDENCE QUESTION

Driver was driving an automobile that struck Pedestrian in the crosswalk of a busy street. Pedestrian suffered painful fractures and a concussion that affected her memory of the accident.

Pedestrian filed a negligence action against Driver, who responded with a general denial and an assertion that Pedestrian's negligence caused her injuries. The parties have stipulated to the severity of Pedestrian's injuries, to Pedestrian's pain and suffering, and to the total value of Pedestrian's damages. The parties are scheduled for a jury trial on the issues of both Driver's and Pedestrian's negligence.

Pedestrian plans to call Witness to testify at trial. Witness did not see the collision occur. However, Witness will testify that he walked past Pedestrian no more than five seconds before the collision, at which time Witness saw that Pedestrian was deeply engrossed in a cell phone conversation. Witness will also testify that he saw Driver's distinctive sports car as it approached the intersection in which Pedestrian was hit. Witness, who has no specialized training, experience, or education, will also offer the opinion that the car was speeding just prior to the collision because it was traveling noticeably faster than the cars near it, all of which appeared to be traveling at the same slower speed.

Pedestrian plans to call her Spouse to testify that Pedestrian is very cautious and risk-averse.

Pedestrian also plans to testify at trial. She will not deny having been on the cell phone when Witness walked by, but will claim to have lowered the cell phone and looked for traffic just prior to entering the intersection. In fact, Pedestrian intends to testify that she has used a cell phone for many years, that she talks on it while walking almost every day, and that she invariably ends a call or lowers the cell phone when preparing to cross a street in order to look both ways before entering the intersection.

Driver intends to undermine Pedestrian's credibility by introducing evidence of her memory loss. Pedestrian counters that if the jury hears about some of Pedestrian's injuries, then it must hear about all of them, and so Pedestrian seeks to introduce evidence on the full nature and extent of her other injuries.

At the final pretrial motion hearing, Driver's counsel argued that the court should grant these four motions *in limine*:

- (1) to exclude Witness's opinion that Driver was speeding;
- (2) to exclude Spouse's testimony;
- (3) to exclude evidence of Pedestrian's cell phone use at any time other than the day of the collision;
- (4) to admit evidence of Pedestrian's memory loss, but to exclude evidence of Pedestrian's other injuries.

The evidence rules of this jurisdiction are identical to the Federal Rules of Evidence.

How should the court rule on each of these motions? Explain.

TRUSTS QUESTION

Settlor created a revocable trust naming Bank as trustee. The trust instrument directed Bank, as trustee, to pay all trust income to Settlor and, upon Settlor's death, to distribute all trust assets to "Settlor's surviving children." When Settlor created the trust, he had three living children, Alan, Ben, and Claire.

Settlor died last year. Alan predeceased him. Settlor was survived by three children, Ben, Claire, and Doris (born after Settlor created the trust), and two grandchildren. One of the surviving grandchildren was Claire's child and one was Alan's child. Alan's child was his only heir.

When Settlor created the trust, he funded it with cash. Bank promptly invested the cash in a broad range of stocks and bonds and held this broadly diversified portfolio for just over twenty years. Although the portfolio had by then significantly increased in value, Settlor was dissatisfied with the rate of appreciation. Settlor therefore directed Bank to sell 90% of the trust portfolio and to reinvest the proceeds in the stock of XYZ, a closely held corporation that Settlor believed would substantially appreciate in value.

The investment in XYZ appreciated more than 50% during the first two years after Bank purchased the stock. However, during the five years preceding Settlor's death, the XYZ investment depreciated to about 70% of its initial value. This depreciation was largely due to mismanagement by XYZ's board of directors. Although Settlor was neither a director nor an officer of XYZ, he was fully aware of the management problems. He discussed these problems with Bank and told Bank, "I expect things will turn around soon."

Immediately upon Settlor's death, Bank liquidated the trust's interest in XYZ, thus avoiding further losses from this investment.

One month after Settlor died, Claire wrote to Bank disclaiming all of her interest in the trust.

1. To whom should the trust assets be distributed? Explain.
2. Is Bank liable for losses on the investment in XYZ stock? Explain.

NEGOTIABLE INSTRUMENTS QUESTION

Employee was Lawyer's bookkeeper. Employee's responsibilities included paying Lawyer's bills, receiving payments from Lawyer's clients, posting those payments to the proper client accounts, and depositing checks and cash into Lawyer's business account at Bank. Employee did not have authority to sign or indorse checks on behalf of Lawyer. If a check required a signature or an indorsement, Employee secured Lawyer's signature.

Employee recently disappeared. Shortly thereafter, Lawyer discovered that Employee had been stealing from Lawyer for several weeks. Although the amounts taken or misapplied by Employee were usually quite small, in two cases the amounts were rather substantial.

In one case, Employee entered into an agreement to purchase a car from Dealer, falsely telling Dealer that the car was for Lawyer's business. Employee and Dealer agreed that Employee would pay the \$10,000 price by check and that the car would be delivered once the check had cleared.

Employee prepared a check for \$10,000 drawn on Lawyer's business account and payable to the order of "Dealer." She included the check among a group of checks that she gave Lawyer to sign. Lawyer, who was pressed for time, signed all the checks without carefully examining them, including the check to Dealer.

Employee delivered the check to Dealer. However, by the time Dealer presented the check for payment, Lawyer had discovered Employee's fraud and instructed Bank to dishonor the check. Bank followed the instruction and dishonored the check, which was then returned to Dealer. The car is still in Dealer's possession.

In the second case, Employee forged Lawyer's signature on the back of a \$5,000 check from a third party payable to the order of Lawyer. Employee then cashed the check at Checkco, a check-cashing service. Checkco subsequently obtained payment of the check from the bank on which it was drawn.

Dealer has demanded payment of the \$10,000 check from Lawyer.

Lawyer has demanded that Checkco pay him \$5,000.

1. Is Lawyer liable to Dealer on the \$10,000 check? Explain.
2. Is Checkco liable to Lawyer for \$5,000? Explain.

February 2010 MEE

▶ *ANALYSES*

Secured Transactions

Real Property

Family Law

Torts

Corporations

Federal Civil Procedure

Evidence

Trusts

Negotiable Instruments

SECURED TRANSACTIONS ANALYSIS

(Secured Transactions II.G., IV.A.)

ANALYSIS

Legal Problems

- (1)(a) When a contract provides that title to sold goods will not pass until payment has been made, what rights in the goods do seller and buyer have?
- (1)(b) Does a secured party who has a security interest in the debtor's inventory have a security interest in raw materials that the debtor will use to manufacture its products?
- (1)(c) What interest does a secured party with a security interest in goods have when the debtor receives goods pursuant to a contract providing that title to the goods does not pass to the debtor until they are paid for?
- (1)(d) As between a lender with a security interest in inventory and an unpaid seller of the goods constituting inventory who has delivered the goods to the buyer but retained title to them until they are paid for, who has priority?
- (2) Does a secured party with a security interest in a debtor's inventory have a security interest in goods that the debtor has contracted to buy but in which the debtor has no rights?

DISCUSSION

Summary

Copperco's interest in the copper sheet that has been delivered to Kitchenware is "limited in effect to a reservation of a security interest." UCC § 1-201(b)(35). Thus, Kitchenware is the owner of that copper sheet and Copperco has a security interest in it. The delivered copper sheet became part of Kitchenware's inventory and thus, Bank's security interest attached to it and was perfected. Copperco's security interest in the copper sheet is unperfected. As a result, Bank's security interest in the delivered copper sheet has priority over Copperco's security interest.

With respect to the second installment of copper sheet, the security agreement with Bank will create an enforceable security interest in that sheet only if Kitchenware "has rights in" the sheet. Because, under the Copperco-Kitchenware contract, Kitchenware has no rights in the second installment of copper sheet, Bank's security interest did not attach to that installment and only Copperco has an interest in it.

Point One(a) (30%)

Copperco's reservation of title to the delivered goods is ineffective except as retention of a security interest; Copperco's security interest is unperfected.

Secured Transactions Analysis

The sales contract between Copperco and Kitchenware provided that Copperco would retain title to the copper sheet until it received full payment for it. Under the Uniform Commercial Code, such “retention or reservation of title by a seller of goods notwithstanding shipment or delivery to the buyer under Section 2-401 is limited in effect to a reservation of a ‘security interest.’” UCC § 1-201(b)(35). *See also* UCC § 2-401(1). Thus, Kitchenware owns the copper sheet, and Copperco has a security interest in it. Copperco has neither retained possession of the copper sheet nor filed a financing statement with respect to it, so Copperco’s security interest is unperfected. *See* UCC § 9-308 *et seq.*

[NOTE: An applicant might note that Copperco’s security interest is a purchase-money security interest. This statement is correct, but it does not change the analysis because only a purchase-money security interest *in consumer goods* is perfected without filing or possession by the secured party.]

Point One(b) (10%)

The copper sheet constitutes inventory, so it is covered by Bank’s security interest.

Bank has a security interest in Kitchenware’s “inventory.” The copper sheet is inventory of Kitchenware because it constitutes “raw materials, work in process, or materials used or consumed” in Kitchenware’s business. UCC § 9-102(a)(48)(D).

Point One(c) (20%)

Bank has a perfected security interest in the delivered copper sheet.

As noted in Point One(a) above, once the copper sheet was delivered to Kitchenware, Kitchenware became the owner of the sheet even though the contract provided that Copperco retained title. At that point, Kitchenware had rights in the delivered copper sheet, and Bank’s security interest in inventory attached to it. *See* UCC § 9-203(b) (security interest attaches when value is given, security agreement has been signed, and debtor has rights in the collateral), § 9-204(a) (security interest may attach to after-acquired collateral). Bank filed a financing statement with respect to its security interest, so its security interest in the copper sheet is perfected. *See* UCC § 9-308 *et seq.*

Point One(d) (20%)

Bank’s perfected security interest in the delivered copper sheet is superior to Copperco’s unperfected security interest.

As noted above, Bank and Copperco both have security interests in the delivered copper sheet. Bank’s security interest in the copper sheet was perfected by filing. Copperco’s interest, on the other hand, was not perfected at all. As between the perfected and an unperfected security interests, Bank’s perfected interest has priority. UCC § 9-322(a)(2).

Point Two (20%)

Because Kitchenware did not have rights in the undelivered copper sheet, Bank’s security interest in it did not attach.

One of the elements of an enforceable and attached security interest is that the debtor have “rights in the collateral.” *See* UCC § 9-203(b)(2). Thus, Bank has a security interest in the

undelivered copper only if Kitchenware has rights in it. Under the terms of the contract between Copperco and Kitchenware, Kitchenware obtained no rights (even rights that are short of title) in the undelivered copper (and UCC § 2-401 does not limit Copperco's rights to a security interest because the goods were neither shipped nor delivered to Kitchenware). Thus, Kitchenware had no interest in the copper sheet. Accordingly, Bank's security interest did not attach to the undelivered copper sheet. Thus, as between Copperco and Bank, only Copperco has an interest in the undelivered copper sheet.

[NOTE: An applicant might argue that Kitchenware had some rights in the undelivered copper sheet because, when the copper sheet was identified to the contract by Copperco (when Copperco designated it for delivery to Kitchenware), this gave Kitchenware a "special property" in the copper sheet, *see* UCC § 2-501, and Bank's security interest could attach to that set of rights in the sheet. *See* UCC § 9-203(b)(2), cmt. 6 (limited rights in collateral are sufficient for attachment even if the rights are less than full ownership). However, that "special property" would not give Kitchenware (or Bank) any right to claim the goods from Copperco in the absence of payment of the contract price. *See* UCC §§ 2-502, 2-511. Moreover, Article 9 states expressly that a seller with a security interest created by retention of title under § 2-401 "has priority over a conflicting security interest created by the debtor" in any case where the debtor has not yet obtained possession of the goods. UCC § 9-110(4). Here, Copperco has at least a security interest in the goods under § 2-401 (*see* Point One(a), above). Because the goods were never in Kitchenware's possession, Copperco's security interest will be superior to Bank's interest, which was created by the debtor, Kitchenware. *See* UCC § 9-110. An applicant who makes these points should receive some credit.]

REAL PROPERTY ANALYSIS

(Real Property II.B.; V.B., D.1)

ANALYSIS

Legal Problems

- (1) Did Bob take the land subject to a power-line easement when the easement was not recorded but the power lines were visible?
- (2) Did Bob take the land subject to a gas-line easement when the easement was not recorded and the gas line was not visible but Bob had actual knowledge of the gas-line easement?
- (3) If Bob took the land subject to the power-line easement, may he obtain damages from Owen based on the Owen-to-Abe warranty deed's covenant against encumbrances?

DISCUSSION

Summary

Under the state recording statute, a subsequent purchaser for value takes the purchased property free of prior unrecorded interests unless the purchaser has actual or inquiry notice of those interests. Both Abe and Bob had inquiry notice of the power-line easement, as the power lines were clearly visible. Had they looked, they would have discovered the power lines and been aware that they should make further inquiry regarding the possibility of an existing easement. Thus, Abe and Bob were on notice of any interest the electric company actually had that they could have ascertained by asking the electric company, and they take subject to that interest.

Abe had no notice of the underground gas-line easement, since it was not visible and it was not on the record. Thus Abe took the property free and clear of the gas-line easement. While Bob had actual knowledge of the gas-line easement, because of the shelter doctrine, Bob takes the land free of that easement. Because Bob is a remote grantee, he cannot recover damages from Owen for the power-line easement based on the covenant against encumbrances in the Owen-to-Abe deed.

Point One (40%)

Both Abe and Bob acquired the land subject to the unrecorded power-line easement. Because the power lines were visible, Abe and Bob were on inquiry notice of the easement.

In this state, a “conveyance of real property is not valid against any subsequent purchaser who, without notice, purchases said real property in good faith and for valuable consideration.” Notice may be actual, constructive, or inquiry. JOHN G. SPRANKLING, UNDERSTANDING PROPERTY LAW § 24.04[D] (2d ed. 2007). Constructive notice comes from information that is on the public land records; inquiry notice arises from facts discernible through visual inspection of the premises or

the applicable recorded instruments. *Id.* § 24.06. Some jurisdictions and authors equate constructive and inquiry notice.

Here, because Abe paid Owen for the land, he is a subsequent purchaser for value. Abe did not have actual notice of the power-line easement and, because that easement was never recorded, he did not have constructive notice of it based on the recorded instruments. However, because the power lines were discernible from visual inspection, Abe had inquiry notice of the power-line easement. Therefore, under the relevant statute, Abe took subject to the power-line easement. *See WILLIAM B. STOEBUCK & DALE A. WHITMAN, THE LAW OF PROPERTY* § 11.10, at 882 (3d ed. 2000).

The same analysis applies to Bob, who also takes subject to the power-line easement.

Point Two (30%)

Abe did not take the land subject to the unrecorded and invisible gas-line easement because he had no actual, constructive, or inquiry notice of it. While Bob had actual knowledge of the gas-line easement, because of the shelter doctrine, he takes free and clear of that easement.

The gas-line easement was never recorded. Thus neither Abe nor Bob acquired constructive notice of this easement from the land records. Abe had no actual notice of it, either. In contrast to the power-line easement, the gas-line easement was not discernible through visual inspection; the gas lines were underground, and the surface of the land had been restored to its pre-installation condition. Therefore, Abe had no inquiry notice of the gas-line easement. Thus, under the state recording statute, Abe took free of the gas-line easement.

At first blush, it would appear that Bob took the land subject to the gas-line easement because, in contrast to Abe, he had actual notice of it. However, under the “shelter doctrine,” when a bona fide purchaser (here, Abe) acquires title free of a prior encumbrance, he can convey that title to a subsequent purchaser (here, Bob) free of that encumbrance. In order to ensure that the bona fide purchaser has an unlimited right to alienate his land in the future, the shelter doctrine applies even when the subsequent purchaser has actual notice of the prior, unrecorded encumbrance. *See STOEBUCK & WHITMAN, supra*, § 11.10 at 889.

Point Three (30%)

Bob cannot obtain damages from Owen for breach of the covenant against encumbrances because Bob is a remote grantee. However, some jurisdictions do not follow the common law rule. In those jurisdictions, a remote grantee may sue on the covenant against encumbrances.

Owen conveyed the land to Abe with a full covenant and warranty deed that made no mention of encumbrances. A full-covenant deed includes a covenant against encumbrances, i.e., a warranty that, at the time of conveyance, there are no outstanding third-party rights that negate the title the grantor purports to convey. That covenant is inconsistent with the fact that Abe and later Bob took subject to the power-line easement. (*See Point One.*) Abe clearly had a cause of action against Owen for breach of the covenant against encumbrances. The issue is whether Bob may also sue Owen.

Under the common law, the covenant against encumbrances is a “present covenant,” breached, if at all, if there is an encumbrance at the time of the conveyance to Abe. Furthermore, the covenant does not run with the land. Therefore, it cannot benefit a remote grantee like Bob. *See STOEBUCK & WHITMAN, supra*, § 11.13 at 911; HERBERT HOVENKAMP & SHELDON F. KURTZ, *THE LAW OF PROPERTY* 617 (5th ed. 2001).

Some jurisdictions do not follow the common law rule. *See, e.g., In re Estate of Hanlin*, 133 N.W. 140 (Wis. 1907). In those jurisdictions, a remote grantee may sue on the covenant against encumbrances. *See* UNIFORM LAND TRANSACTIONS ACT § 2-312. Even in those jurisdictions, a remote grantee with notice of the easement may not sue on the theory that with such notice the grantee (1) never relied on the covenant or (2) bargained for a reduction in the purchase price to take account of the easement. *See Ford v. White*, 172 P.2d 822 (Or. 1946). Courts are divided on whether the covenant against encumbrances is breached when an unrecorded easement is ascertainable through visual inspection. Some courts say yes; others disagree, arguing that the grantee can sue even though the easement is visible because, if the warranty is in the deed, the grantee can reasonably assume that an easement is no longer valid when the grantor makes no exception for it when conveying title.

FAMILY LAW ANALYSIS

(Family Law III.D., E., J.)

ANALYSIS

Legal Problems

- (1) Did Harry's behavior constitute fraud or overreaching sufficient to invalidate the settlement agreement?
- (2) Would a divorce obtained on grounds of adultery significantly enhance Wendy's prospects of obtaining a monetary award?
- (3)(a) Is Harry's law degree marital property subject to division at divorce?
- (3)(b) Can Wendy obtain alimony (spousal support)?

DISCUSSION

Summary

Courts generally will invalidate a settlement agreement resulting from fraud, overreaching, or duress if it results in a settlement that is substantively unfair. Harry's preparation of the agreement, his failure to advise Wendy to seek independent counsel, and his biased account of Wendy's legal rights will likely lead the court to conclude that the agreement should be invalidated if the court also concludes that Wendy should have obtained an award. A divorce obtained on grounds of adultery will not likely give Wendy a significant advantage in obtaining an award. In only about half of the states is fault a factor in alimony determination or property division, and even in those jurisdictions in which fault is relevant, it rarely plays a major role in judicial decision making. Wendy is not entitled to a cash award based on the value of Harry's law license, and the facts do not reveal any other assets that might provide the basis for such an award. Given that state law does not authorize claims for reimbursement alimony, it is unclear whether Wendy can obtain an alimony award.

Point One (30%)

The settlement agreement will be invalidated if the court finds that (1) it was procured by fraud, duress, or overreaching, and (2) it is substantively unfair. A court will likely find that Harry's conduct in drafting and negotiating the agreement satisfies the first part of this test. It is unclear whether the court will conclude that the agreement is substantively unfair to Wendy.

In most states, a settlement agreement resulting from fraud, overreaching, or duress may be set aside if it is substantively unfair. *See* JOHN DEWITT GREGORY, PETER N. SWISHER & SHIRLEY L. WOLF, UNDERSTANDING FAMILY LAW 112 (3d ed. 2005). *See also* UNIF. MARRIAGE AND DIVORCE ACT (UMDA) § 306(b) (written settlement agreement is binding on the court unless

unconscionable). A few courts have also held that spouses have fiduciary obligations toward each other that continue, when one spouse is unrepresented by counsel, during the negotiation of a settlement agreement. *See, e.g., Crawford v. Crawford*, 524 N.W.2d 833 (N.D. 1994).

Here, Wendy was unrepresented and Harry, an attorney, failed to advise her to seek independent legal counsel. Although a lack of independent legal counsel will not by itself invalidate a settlement agreement, courts will generally examine the circumstances that led a spouse to forgo counsel or waive marital rights. Harry also advised Wendy that a court would “definitely not” impose any post-marital obligations on him, which is probably untrue. Taken together, these facts suggest fraud and overreaching.

However, if Harry’s conduct did not result in an agreement substantively unfair to Wendy, the agreement should not be invalidated. The agreement is not unfair as to Harry’s law degree. (*See* Point Three(a).) It might be unfair as to alimony. (*See* Point Three(b).)

[NOTE: Some applicants may state that the court can ignore the settlement agreement because the divorce is not yet final. This is incorrect, and an applicant who resolves the issue in this way should not receive credit.]

Point Two (20%)

Obtaining a divorce on grounds of adultery is unlikely to significantly improve Wendy’s prospects of obtaining alimony or a cash award representing her share of marital property.

Even if Wendy is able to obtain a divorce on grounds of adultery, it is unlikely to give her a financial advantage. About a third of the states have eliminated fault-based divorce grounds. In these states, Wendy could not obtain a divorce on grounds of adultery; she could obtain only a no-fault divorce.

Although most states permit consideration of *financial* misconduct, only about half permit consideration of *marital* misconduct, such as adultery, in either property division or alimony determination. Of the group of states that permit consideration of marital misconduct, about half restrict its use to alimony determination. And while a claimant’s marital fault was once, in many states, a bar to an alimony award, in virtually all states that today permit consideration of fault in alimony decision making, it is simply one factor among many. *See* AM. LAW INST., PRINCIPLES OF THE LAW OF FAMILY DISSOLUTION: ANALYSIS AND RECOMMENDATIONS 46–53 (2002) (describing state-by-state survey). Some appellate courts in states that permit consideration of marital misconduct have required trial courts to consider fault only when egregious. *See O’Brien v. O’Brien*, 489 N.E.2d 712, 719 (N.Y. 1985) (fault excluded except in “egregious cases that shock the conscience”); *O’Loughlin v. O’Loughlin*, 458 S.E.2d 323, 326 (Va. Ct. App. 1995) (party’s fault relevant to award determination when fault had an economic impact on marriage). Some states have explicitly ruled that adultery is not sufficiently egregious to have an impact on alimony. *See In re Marriage of Sommers*, 792 P.2d 1005, 1009 (Kan. 1990) (“It is difficult to conceive of any circumstances where evidence of marital infidelity would be a proper consideration in the resolution of the financial aspects of a marriage.”); *Stevens v. Stevens*, 484 N.Y.S.2d 708 (App. Div. 1985). In other states, there is older case law permitting consideration of adultery or similar misconduct, but virtually no modern cases do so. *See* AM. LAW INST., *supra*. Commentators reviewing the case law have thus concluded that “the current judicial trend in many states today . . . [is] to ignore or severely limit the ultimate effect of fault-based statutory divorce factors except in serious or egregious circumstances.” Peter Nash

Swisher, *The ALI Principles: A Farewell to Fault—But What Remedy for the Egregious Marital Misconduct of an Abusive Spouse?*, 8 DUKE J. GENDER L. & POL'Y 213, 227 (2001).

Thus, in most states, proving Harry's adultery is unlikely to significantly enhance Wendy's prospects of obtaining either a property-distribution or an alimony award. In some states, however, this factor might play a role in the court's decision.

Point Three(a) (10%)

Harry's law degree is not marital property subject to division at divorce, and the facts do not show that there are any other significant assets.

The states, by an overwhelming margin, have rejected the claim that a professional degree or license is property subject to division at divorce; the notable exception is New York. *See* HARRY D. KRAUSE, LINDA D. ELROD, MARSHA GARRISON & J. THOMAS OLDHAM, FAMILY LAW CASES, COMMENTS, AND QUESTIONS 788 (6th ed. 2007). *See also O'Brien v. O'Brien*, 489 N.E.2d 712 (N.Y. 1985). Wendy thus has no property interest in Harry's degree, and a court could not grant her a cash award in compensation for such an interest. The facts also fail to reveal any other assets that could be classified as marital property. Thus, a cash award to Wendy representing a share of marital property would be inappropriate.

Point Three(b) (40%)

It is not clear whether Wendy will receive alimony.

If the court invalidates the settlement agreement, Wendy could seek an alimony award. But permanent or long-term alimony is seldom awarded except in the case of a long marriage and a significant, long-term gap between the husband's and wife's economic prospects. *See* GREGORY ET AL., *supra*, at 307–08, 411. It is virtually certain that Wendy could not obtain such an award, given the short duration of the marriage and the possibility that Wendy could pursue a career that would generate an income equal to or higher than Harry's since Wendy is still young and without children.

In a state, like this one, that does not permit reimbursement alimony, Wendy could seek a short-term, "rehabilitative" alimony award to complete her college education. In some states a spouse must establish that she lacks the capacity for self-support as a precondition to obtaining a rehabilitative award. *See, e.g.,* UMDA § 308(a) (court may not award alimony unless spouse (1) "lacks sufficient property to provide for his reasonable needs; and (2) is unable to support himself through appropriate employment . . ."). Wendy has no property, but she is capable of self-support. Under a standard like that of the UMDA, she would be ineligible for alimony unless her employment was not "appropriate." Some courts have thus refused to award alimony to a wife capable of self-support even when she supported her husband's professional education. *See, e.g., McDermott v. McDermott*, 628 P.2d 959 (Ariz. App. 1981) (schoolteacher wife who supported husband through graduate school not eligible for alimony because she could support herself); *Morgan v. Morgan*, 383 N.Y.S.2d 343 (App. Div. 1976) (overturning alimony award to wife who had supported husband's legal education and planned to finish college and go to medical school because she was capable of self-support).

Most of these decisions are old; courts today typically view capacity for self-support as only one factor among many in awarding rehabilitative alimony. Here, Wendy's contributions to the couple's support and to Harry's education and Harry's ability to contribute to Wendy's future

support would weigh in her favor. But the process of alimony determination is highly discretionary, and several factors—Wendy’s youth, the short duration of the marriage, the fact that the marriage produced no children, Harry’s probably modest salary as a public defender—would all weigh against Wendy’s claim for rehabilitative alimony. *See* GREGORY ET AL., *supra*, at 312–14.

In sum, Wendy’s prospects of obtaining an alimony award are quite uncertain.

[NOTE: Spousal support and spousal maintenance are alternative terms for alimony. An applicant should not be penalized for using one of these terms instead of alimony. The applicant’s conclusion should be given less weight than his or her command of the relevant legal principles and use of the facts. A number of jurisdictions now authorize “reimbursement” or “restitutional” alimony to compensate one spouse for significant contributions to the other’s education or career. *Id.* at 411–13. Given Wendy’s support of Harry during law school, Wendy would have a strong claim to this form of alimony, but it is not authorized in the state where her claim was brought.]

TORTS ANALYSIS

(Torts I.A.; II.A., B.1., B.2. & F.1.)

ANALYSIS

Legal Problems

- (1) What must Penny establish in a battery action against Dennis?
- (2) What must Penny establish in a negligence action against Dennis?
- (3) What must Penny establish in an action against the Flies based on the team's employment relationship with Dennis?
- (4) What must Penny establish in a negligence action against the Flies?
- (5) If Penny succeeds in her action against either Dennis or the Flies, can she recover for damages for the neurological harm that resulted from a preexisting condition?

DISCUSSION

Summary

Penny does not have a viable battery action against Dennis because Dennis neither intended, nor knew with substantial certainty, that the ball he hit out of the Park would strike anyone. Penny does not have a viable negligence action against Dennis because there is no reasonable means by which Dennis could have avoided hitting Penny. Because Penny does not have a viable claim against Dennis, she has no viable claim against the Flies based on the team's employment of Dennis even though Dennis was acting within the scope of his employment. However, Penny might have a viable negligence action against the Flies based on the team's failure to attach netting to the fence adjoining Oak Street. The fact that the Flies have conformed to customary standards for minor league baseball fence construction is relevant but not determinative. If the jury finds that the Flies' failure to install netting along the Oak Street fence was negligent, Penny could recover for harm suffered as a result of her adverse reaction to medication even though this harm resulted from a preexisting condition.

Point One (25%)

Dennis did not commit a battery when the ball he hit struck Penny. Therefore Penny does not have a viable battery action against Dennis.

In a battery action, the plaintiff must show that the defendant *intentionally* caused a harmful or offensive bodily contact. A defendant intentionally causes such a contact if he "acts with the desire to bring about that harm" or engages "in action knowing that harm is substantially certain to occur." RESTATEMENT (THIRD) OF TORTS § 1, cmt. d. In this case, Dennis neither desired to

Torts Analysis

bring about a harmful contact between the baseball and Penny nor, in light of his location inside the Park, could he have known that such a contact would or was substantially certain to occur. As a result, Penny does not have a viable battery claim against Dennis.

Point Two (25%)

Dennis was not negligent in hitting the ball that struck Penny over the Oak Street fence. Therefore Penny does not have a viable negligence claim against Dennis.

In a negligence action, the plaintiff must show that the defendant owed the plaintiff a duty to conform his conduct to a standard necessary to avoid an unreasonable risk of harm to others, that the defendant's conduct fell below the applicable standard of care, and that the defendant's conduct was both the cause in fact and the proximate cause of the plaintiff's injuries.

In determining whether Dennis's conduct fell below the standard of care, the jury would measure that conduct against the actions of a reasonable, prudent person engaged in a like activity. A reasonable, prudent person takes appropriate precautions to avoid foreseeable risks; in measuring whether a particular precaution was warranted, the jury weighs the burden of taking such precautions against the gravity of the risk and the likelihood that it will eventuate. *See* RICHARD A. EPSTEIN, *CASES AND MATERIALS ON TORTS* 150–51 (7th ed. 2004); *United States v. Carroll Towing Co.*, 159 F.2d 169 (2d Cir. 1947).

Here the burden of taking the precaution against the risk is high. The only meaningful precautions that Dennis might have taken were not hitting the ball at all or trying to hit it with less than maximum force. Either precaution would generally be inconsistent with Dennis's job as a professional baseball player, which includes the obligation to hit the ball and to hit a home run if possible. For Dennis, the cost of taking precautions could mean the loss of his career.

The gravity of the risk created by his hitting the ball cannot be determined easily. Being hit with an errant baseball could cause harm ranging from minimal bruising to far more serious injury. The likelihood of the harm occurring is low—in 40 years only 30 balls had previously been hit into Oak Street.

Thus Dennis was not negligent in hitting the ball that caused Penny's injury.

Point Three (10%)

Penny does not have a viable claim against the Flies based on the team's employment of Dennis.

An employer is vicariously liable for the tortious actions of his employee that are within the scope of the tortfeasor's employment. *See* RESTATEMENT (SECOND) OF AGENCY §§ 219, 229; RESTATEMENT (THIRD) OF AGENCY § 2.04. In this case, there is no question that Dennis was acting within the scope of his employment; he was a baseball player engaged in hitting a baseball. But Penny does not have a viable tort action against Dennis because Dennis's conduct was not tortious. Therefore, the Flies are not vicariously liable for his conduct.

Point Four (25%)

Penny may have a viable negligence action against the Flies based on the team's failure to attach netting to the Oak Street fence despite the fact that the fence conforms to customary standards within professional baseball.

Just as a jury would measure Dennis's conduct against the actions of a reasonable, prudent person engaged in a like activity, it would measure the Flies' conduct in constructing and

maintaining the Oak Street fence against that of a reasonably prudent ballpark owner. And while Dennis had no means of avoiding the injury to Penny other than not hitting the ball, the Flies could have added netting to the Oak Street fence, and that netting would have prevented Penny's injury.

Custom is relevant in a negligence action, but it is not determinative. *See The T.J. Hooper*, 53 F.2d 107 (S.D.N.Y. 1931). Thus, even though the Flies' conduct conformed to the industry standard, Penny may succeed in her negligence action if she can establish that the cost of adding netting to the fence was relatively modest in relation to the risk of injuries from balls exiting the Park onto Oak Street. Given the changed character of the street, the increasing number of balls hit onto the street in recent years, and the widespread adoption of netting in another country, it is possible that Penny may succeed in making such a showing.

Point Five (15%)

Because a tort defendant "takes his victim as he finds him," Penny could recover for harm suffered due to her adverse reaction to medication.

A tort defendant takes his victim as he finds him. The plaintiff with an "eggshell skull" who suffers damage greatly in excess of those that a normal victim would suffer thus is entitled to recover fully for his injuries. *See Epstein, supra*, at 476–77. Because Penny's sensitivity to the prescribed medication was a preexisting condition, if Penny succeeds in her lawsuit against the Flies, she could recover for all injuries suffered as a result of that sensitivity.

CORPORATIONS ANALYSIS

(Corporations V.A.; VI.A.; IX.)

ANALYSIS

Legal Problems

- (1) Does Smith have a right to inspect Omega's corporate books and records to determine whether \$35 per share is a fair price for his shares?
- (2) Is Smith required to make a demand on the corporation prior to bringing a suit to compel a dividend?
- (3) Is a suit to compel the payment of a dividend likely to be successful?

DISCUSSION

Summary

Smith has a right to inspect corporate books and records to determine the value of his shares because this purpose is reasonably related to Smith's interest as a shareholder. Smith is not required to make a demand upon the corporation prior to bringing a suit to compel the payment of a dividend because such a suit attempts to vindicate an individual right of Smith as a shareholder. It is not a suit by Smith as a representative of Omega to vindicate a corporate right. However, a suit to compel the payment of a dividend is unlikely to be successful because, even if funds are legally available to pay dividends, Smith can compel the payment of a dividend only by showing that the decision to withhold dividends was made in bad faith.

Point One (25%)

As a shareholder, Smith has a right to inspect corporate books and records for a proper purpose. Determining the value of Smith's shares for purpose of sale is a proper purpose.

A shareholder has a right to inspect corporate books and records for a proper purpose. MODEL BUSINESS CORP. ACT (MBCA) § 16.02(b) & (c) (1984); DEL. GEN. CORP. § 220(b). A proper purpose is a purpose reasonably related to a person's interest as a shareholder. DEL. GEN. CORP. § 220(b). The determination of the value of one's own shares for purposes of sale is a proper purpose. *CM & M Group, Inc. v. Carroll*, 453 A.2d 788, 792 (Del. 1982); *Matter of Smilkstein v. J. Smilkstein & Sons, Inc.*, 223 N.Y.S.2d 561, 563 (N.Y. Sup. Ct. 1961). The fact that Smith has not definitely decided to sell does not prevent the valuation from being a proper purpose. *CM & M Group, Inc.*, 453 A.2d at 792–93 (involving shares in a closely held corporation); *Macklowe v. Planet Hollywood, Inc.*, 1994 WL 560804 (Del. Ch., Sept. 29, 1994) (involving shares in a closely held corporation; no present intention to sell or concrete steps to sell shares required in order for valuation of shares to be a proper purpose).

In contrast to a publicly traded corporation, a closely held corporation has no market that continuously values its shares. The fact that Omega is a closely held corporation reinforces the

conclusion that valuing the shares is a proper purpose for inspection. Thus, “[w]hen a minority shareholder in a closely held corporation whose stock is not publicly traded needs to value his or her shares in order to decide whether to sell them, normally the only way to accomplish that is by examining the appropriate corporate books and records.” *Macklowe*, 1994 WL 560804 at *4.

In sum, Smith has a right to inspect Omega’s corporate books and records because this purpose is reasonably related to Smith’s interest as a shareholder.

[NOTE: An applicant might receive extra credit for recognizing that in order to exercise his inspection rights, Smith must comply with procedural requirements, which generally include making a written demand for inspection and allowing the corporation a certain length of time (typically five days) to respond.]

Point Two (30%)

A suit to compel the payment of a dividend is a suit seeking to enforce an individual right of the shareholder and not a suit in a representative capacity seeking to enforce a right of the corporation. Therefore, no demand on the corporation is required prior to bringing suit.

A shareholder is generally required to make a demand on the corporation to take remedial action prior to bringing a derivative suit. *See* MBCA § 7.42 (requiring a demand in all cases); Del. Chancery Court Rule 23.1 (requiring complaint to allege demand or reason for failure to make demand). However, a shareholder is not required to make a demand on the corporation prior to bringing suit where the shareholder brings a suit in his or her individual capacity to enforce an individual right of the shareholder. The important question, then, is whether a suit to compel the payment of a dividend is a suit to enforce a right of the corporation or, conversely, a suit to enforce an individual right of the shareholder.

A suit to compel the payment of a dividend is not a suit to enforce a right of the corporation. It is a suit to enforce a right of the individual shareholder, that is, the shareholder’s right to share in the net profits of the corporation. *Doherty v. Mutual Warehouse Co.*, 245 F.2d 609, 612 (5th Cir. 1957); *Knapp v. Bankers Securities Corp.*, 230 F.2d 717, 721–22 (3d Cir. 1956) (noting also that the right to dividends is an incident of the ownership of stock). Consequently, there is no requirement that Smith make a demand on the corporation prior to bringing suit to compel the payment of a dividend.

[NOTE: In some jurisdictions, a derivative suit may be appropriate and graders are encouraged to ascertain local law on this issue. If an applicant approaches this issue solely from the perspective of the shareholder bringing a derivative suit, then the grader should also expect some analysis of demand futility. Presumably, Baker and Jones, having made the decision not to pay a dividend, are unlikely to agree to have the corporation sue the directors for failure to declare a dividend.]

Point Three (45%)

The decision as to whether to distribute corporate earnings as dividends or to retain those earnings in order to expand the business is a matter that is generally within the business judgment of the corporate directors. Smith’s suit to compel the payment of a dividend is unlikely to be successful because, in order to succeed, Smith would be required to prove that dividends were withheld in bad faith.

While directors have fiduciary duties, the business judgment rule protects them from liability for breach of their fiduciary duties. The business judgment rule is a presumption that in making

business decisions, the directors act on an informed basis, in good faith, and in the honest belief that the action being taken is in the best interests of the corporation. *Aronson v. Lewis*, 473 A.2d 805, 812 (Del. 1984), *overruled on other grounds by Brehm v. Eisner*, 746 A.2d 244 (Del. 2000). The decisions regarding whether to declare a dividend and the amount of any dividend declared are generally matters within the business judgment of the directors. *Dodge v. Ford Motor Co.*, 170 N.W. 668, 682 (Mich. 1919).

To prevail in a suit to compel the payment of a dividend, a shareholder must prove that there are funds legally available for the payment of a dividend and that the directors acted in bad faith in their refusal to pay. *Gay v. Gay's Super Markets, Inc.*, 343 A.2d 577, 580 (Me. 1975); *Zidell v. Zidell, Inc.*, 560 P.2d 1086, 1089 (Or. 1977) (plaintiff must show bad faith, fraud, breach of fiduciary duty, or abuse of discretion on the part of the directors); *Gottfried v. Gottfried*, 73 N.Y.S.2d 692, 695 (N.Y. Sup. Ct. 1947). "The essential test of bad faith is to determine whether the policy of the directors is dictated by their personal interests rather than the corporate welfare." *Gottfried*, 73 N.Y.S.2d at 695.

Usually the plaintiff-shareholder will attempt to prove bad faith by establishing various "earmarks of bad faith." These earmarks include "[i]ntense hostility of the controlling faction against the minority; exclusion of the minority from employment by the corporation; high salaries, or bonuses or corporate loans made to the officers in control; the fact that the majority group may be subject to high personal income taxes if substantial dividends are paid; [and] the existence of a desire by the controlling directors to acquire the minority stock interests as cheaply as possible." *Id.* Here, there may be several earmarks of bad faith. Baker and Jones seemed hostile toward Smith, telling him to "go away and let us run the show." They refused to disclose their salaries. Further, it could be argued that Baker and Jones were trying to acquire Smith's shares as cheaply as possible. The facts do not establish whether \$35 per share is a fair price.

The earmarks "are not, however, invariably signs of improper behavior by the majority." *Zidell*, 560 P.2d at 1089. If these earmarks are not the "motivating causes" of the board's dividend decision, they do not constitute bad faith. *Gottfried*, 73 N.Y.S.2d at 695. In a number of cases, courts have recognized that a good-faith decision to retain corporate earnings for business expansion is an appropriate exercise of business judgment. *Gay*, 343 A.2d at 580; *Gottfried*, 73 N.Y.S.2d at 700–01. In judging the decision of the board of a closely held corporation, a court may also consider that "[d]irectors of a closely held, small corporation must bear in mind the relatively limited access of such an enterprise to capital markets." *Gay*, 343 A.2d at 582.

In sum, a suit to compel the payment of a dividend is unlikely to be successful because, even if funds are legally available to pay dividends, Smith could succeed only by showing that the decision to withhold dividends was made in bad faith or, in other words, was dictated by the personal interests of the directors rather than the corporate welfare. It is unlikely that he can do this when a proper motive for withholding the payment of dividends exists, as it does here.

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure I.A.1.; IV.C.)

ANALYSIS

Legal Problems

- (1) Does a federal district court have diversity jurisdiction over an action between a plaintiff domiciled in one state and three defendants who are domiciled in another state when one of the defendants is a permanent resident alien and not a U.S. citizen?
- (2) Does a federal district court have diversity jurisdiction over a case that arises out of a surrogacy agreement but does not seek a divorce, alimony, or child custody decree?
- (3) Do the Federal Rules of Civil Procedure permit a plaintiff to join three defendants in a single action when her claims against the defendants, although based on different contracts, all seek recovery for expenses generated by a single occurrence?

DISCUSSION

Summary

The federal district court has jurisdiction to adjudicate Surrogate's claims against the defendants because there is complete diversity among all of the parties and the amount-in-controversy requirement is met. The domestic relations exception to diversity jurisdiction is not implicated by these facts because Surrogate does not seek a divorce, alimony, or child custody decree, and a state court already has determined legal parentage. Surrogate properly joined all three defendants in a single action because her claims against them arise out of the same transaction or occurrence (the birth and hospitalization of the baby) and involve a common question of law or fact.

Point One (35%)

The federal district court has diversity jurisdiction to hear these breach-of-contract claims because complete diversity of citizenship exists between the plaintiff and all of the defendants, and the amount-in-controversy requirement is met.

Surrogate is suing Insureco for breaching the terms of the insurance policy, in which it agreed to insure Surrogate and her dependent children. She is suing Husband and Wife for breaching the surrogacy agreement, in which they agreed to assume full financial and legal responsibility for any child resulting from the implantation of their embryo. These claims arise under state contract law and do not raise any federal questions. Therefore, federal court jurisdiction is proper only if the case satisfies the requirements of 28 U.S.C. § 1332, the diversity statute.

Section 1332 grants federal district courts original jurisdiction of all civil actions with an

amount in controversy in excess of \$75,000 if the plaintiff and defendant are “citizens of different States.” 28 U.S.C. § 1332(a). In addition, the “diversity” between the parties on either side of the case must be “complete.” *Strawbridge v. Curtiss*, 7 U.S. (3 Cranch) 267, 267 (1806). In other words, no plaintiff may be a citizen of the same state as any of the defendants. *See* 13E CHARLES ALAN WRIGHT ET AL., *FEDERAL PRACTICE AND PROCEDURE* § 3605 (2009).

On these facts, there is complete diversity. Plaintiff Surrogate is deemed to be a citizen of State B because she is domiciled there. *Id.* § 3611 at 464–65. Defendant Husband, similarly, is a citizen of State A, where he is domiciled. Surrogate and Husband are diverse.

Surrogate is also diverse from Insureco. Under the diversity statute, “a corporation shall be deemed to be a citizen of any State by which it has been incorporated and of the State where it has its principal place of business” 28 U.S.C. § 1332(c)(1). *See also* 13F WRIGHT ET AL., *supra*, §§ 3623–3624. Thus, Insureco is a citizen of both State A and State C and is therefore diverse from Surrogate, a State B citizen.

Even though Wife is not a U.S. citizen, § 1332 provides that “an alien admitted to the United States for permanent residence shall be deemed a citizen of the State in which such alien is domiciled.” 28 U.S.C. § 1332(a). Since Wife has been admitted for permanent residence, she is deemed to be a citizen of State A, where she is domiciled. 13E WRIGHT ET AL., *supra*, § 3604 & n. 14. Thus, she is also diverse from Surrogate.

Because the plaintiff, Surrogate, is a citizen of only State B and none of the defendants is a citizen of State B, complete diversity exists.

Surrogate alleges that each defendant is obliged by contract to pay the \$500,000 hospital bill. She seeks a court order compelling payment of that bill. She thus raises a claim against each defendant that exceeds the \$75,000 amount-in-controversy threshold. *See* JACK H. FRIEDENTHAL, MARY KAY KANE & ARTHUR R. MILLER, *CIVIL PROCEDURE* 49–50 (4th ed. 2005) (in cases where plaintiff seeks equitable relief, the amount in controversy is the value to the plaintiff of what is sought to be obtained); *Burns v. Massachusetts Mut. Life Ins. Co.*, 820 F.2d 246, 248 (8th Cir. 1987).

Point Two (30%)

Under the domestic relations exception, federal courts do not have authority to issue divorce, alimony, and child custody decrees. Here, the district court would retain jurisdiction to adjudicate the plaintiff’s claims, because they raise contractual questions.

The federal courts have long declined to exercise jurisdiction over domestic relations issues. More than a century ago, the Supreme Court of the United States announced that “[t]he whole subject of the domestic relations of husband and wife, parent and child, belongs to the laws of the States and not to the laws of the United States.” *In re Burrus*, 136 U.S. 586, 593–94 (1890). Although the domestic relations exception is not grounded in the Constitution, the Supreme Court has concluded that such a long-established exception to diversity jurisdiction should be retained, absent a Congressional decision to repudiate it. *See Ankenbrandt v. Richards*, 504 U.S. 689, 695, 700–01 (1992) (stating that “[w]ith respect to such a longstanding and well-known construction of the diversity statute, and where Congress made substantive changes to the statute in other respects, we presume, absent any indication that Congress intended to alter this exception, that Congress ‘adopt[ed] that interpretation’ when it reenacted the diversity statute,” quoting *Lorillard v. Pons*, 434 U.S. 575, 580 (1978) (internal citations and footnote omitted)).

Nonetheless, the mere fact that a case involves domestic relations (as the current problem arguably does) does not mean that there is no diversity jurisdiction over that case. According to

one leading treatise, the domestic relations exception applies only to cases that are primarily marital disputes. *See* 13E WRIGHT ET AL., *supra*, § 3609. This conclusion was reinforced in *Ankenbrandt*, in which the Supreme Court limited the scope of the domestic relations exception, stating that it “encompasses only cases involving the issuance of a divorce, alimony, or child custody decree.” 504 U.S. at 704. There, the Court held that a federal district court had diversity jurisdiction to adjudicate a tort claim brought by the mother of two children on their behalf against their father and his companion, alleging sexual and physical abuse, because the suit did not seek a divorce, alimony, or child custody decree. *Id.* *See generally* CHEMERINSKY, FEDERAL JURISDICTION § 5.3, at 302–03 (4th ed. 2003); 13E WRIGHT ET AL., *supra*, §§ 3609 & 3609.1.

On the facts of this question, the domestic relations exception does not apply. No one is seeking a divorce or alimony decree. And there is no dispute over custody of the baby. To the contrary, Husband and Wife already have obtained a state court declaration that they are the baby’s parents and are entitled to sole custody; Surrogate’s suit does not seek to alter that judicial custody determination. All Surrogate seeks is specific performance of Husband and Wife’s contractual obligation to assume financial responsibility for the baby.

Finally, while Surrogate’s claim against Insureco raises the issue of whether the baby is Surrogate’s “natural child” within the meaning of the insurance policy, any determination of that issue would affect only Insureco’s financial responsibility to cover the baby’s hospital bills. Resolution of the issue would not affect the custody of the child.

Therefore, this case does not appear to fall within the domestic relations exception, and the district court should exercise its diversity jurisdiction and adjudicate Surrogate’s claims. *See Mid-South Ins. Co. v. Doe*, 274 F. Supp. 2d 757 (D.S.C. 2003). As the Supreme Court held long ago, a federal court has “no more right to decline the exercise of jurisdiction which is given, than to usurp that which is not given.” *Cohens v. Virginia*, 19 U.S. (6 Wheat.) 264, 404 (1821), *cited with approval in Marshall v. Marshall*, 547 U.S. 293, 298–99 (2006) (rejecting a broad interpretation of the probate exception to federal jurisdiction and requiring lower courts to exercise jurisdiction).

Point Three (35%)

Surrogate properly joined Husband, Wife, and Insureco as defendants because her claims against each of them arose out of the same transaction, occurrence, or series of transactions or occurrences and involve questions of law or fact common to all defendants.

The Federal Rules of Civil Procedure embody a liberal and flexible joinder policy. Rule 20(a), which governs permissive joinder of parties, permits the plaintiff to join multiple defendants whenever two conditions are met: (1) “any right to relief is asserted against [the defendants] jointly, severally, or in the alternative, with respect to or arising out of the same transaction, occurrence, or series of transactions or occurrences” and (2) “any question of law or fact common to all defendants [will] arise in the action.” FED. R. CIV. P. 20(a). *See generally* 7 WRIGHT ET AL., *supra*, § 1651 *et seq.* Both of these conditions must be satisfied. *Id.* § 1653, at 403–04. Rule 20 is designed to “promote trial convenience and expedite the final determination of disputes, thereby preventing multiple lawsuits.” *Id.* § 1652, at 395 (footnotes omitted). The Rule 20 requirements should be read as broadly as possible whenever doing so is likely to promote judicial economy. *Id.* § 1653, at 415.

In determining whether claims against the three defendants arise out of the same transaction or occurrence, courts often employ the logical-relationship test, under which “all logically related events entitling a person to institute a legal action against another generally are

regarded as comprising a transaction or occurrence.” *Id.* § 1653, at 409 (footnote omitted). Emphasizing the liberality and flexibility of this standard, one leading treatise notes that “courts are inclined to find that claims arise out of the same transaction or occurrence when the likelihood of overlapping proof and duplication in testimony indicates that separate trials would result in delay, inconvenience, and added expense to the parties and to the court.” *Id.* § 1653, at 411–12. The inclusion of the language “in the alternative” was specifically intended to permit a plaintiff to join multiple defendants when she or he “is entitled to relief from someone, but the plaintiff does not know which of two or more defendants is liable under the circumstances set forth in the complaint.” *Id.* § 1654, at 418–19.

Here, Surrogate’s claims against all three defendants arise out of the same event—the baby’s birth and hospitalization. In addition, certain factual questions will be common to both claims, including the circumstances of the birth and the terms of the surrogacy agreement between Surrogate and Husband and Wife, which are facts important both to Surrogate’s claim against Husband and Wife and to Insureco’s defense that the baby is not Surrogate’s “natural child.” Thus, joinder is appropriate in this case.

[NOTE: An applicant who demonstrates knowledge of the joinder rule and the ability to apply the rule to the facts of the problem in a sensible way should receive some credit, even if the applicant concludes that joinder is improper in this case. However, an applicant who concludes that joinder is improper should also note that dismissal of the action is not an appropriate remedy for improper joinder. The appropriate remedy is to sever the claims and allow Surrogate to proceed separately against the defendants. FED. R. CIV. P. 21.]

EVIDENCE ANALYSIS

(Evidence I.A.4.; II.A., C.1. & 3.)

ANALYSIS

Legal Problems

- (1) Should the court exclude Witness's opinion that Driver was speeding?
- (2) Should the court exclude Spouse's testimony as to Pedestrian's character for being cautious and risk-averse?
- (3) Should the court exclude evidence of Pedestrian's habit of lowering her cell phone or ending a call when crossing a street?
- (4)(a) Should the court admit evidence of Pedestrian's memory loss?
- (4)(b) If the court does admit evidence of Pedestrian's memory loss, should it then also admit the evidence of Pedestrian's other injuries?

DISCUSSION

Summary

Witness's proffered testimony that Driver was speeding is relevant to the issues of Driver's negligence and causation. Although it is an opinion, it is admissible because non-experts may offer opinions on relevant, non-technical issues, rationally based on their personal perceptions.

The court should exclude Spouse's testimony that Pedestrian is cautious and risk-averse. Evidence of character traits is not admissible to prove action in conformity with those character traits in civil cases.

Pedestrian's testimony that she always lowers her cell phone and checks for traffic before entering intersections is admissible evidence of a habit and may be offered to prove that she acted in conformity with that habit on the day in question.

Proof of Pedestrian's concussion and memory loss is relevant and admissible to show that Pedestrian is not a reliable witness and that the facts to which Pedestrian is testifying are therefore "less probable" than they would otherwise be.

However, even if the court admits evidence of Pedestrian's concussion, it should not admit evidence of her other injuries. Because the parties have stipulated the extent of injury and the resulting damages, evidence of those injuries is irrelevant and likely to unfairly prejudice the jury.

Point One (20%)

The court should allow Witness to offer an opinion on the speed of Driver's car.

To be admissible, evidence must be relevant. FED. R. EVID. 402. Relevant evidence is any evidence that tends "to make the existence" of a "fact that is of consequence to the determination

of the action more probable or less probable than it would be without the evidence.” FED. R. EVID. 401. Witness’s testimony is relevant to the determination of the action because the fact that Driver was speeding, if true, would make it more likely that Driver was acting negligently and was the cause of the accident. Under Rule 403, relevant evidence can be excluded under certain circumstances, but there are no facts in this question to suggest an appropriate ground for exclusion under this rule. *See* FED. R. EVID. 403 (relevant evidence may be excluded if it is unduly prejudicial, confusing, cumulative, a waste of time, or a source of undue delay in the proceedings).

However, Witness’s testimony is in the form of an opinion. Rule 701 places restrictions on non-expert opinion evidence. A witness who is not testifying as an expert may offer an opinion only if

- (a) the opinion is “rationally based on the [witness’s] perception” of what happened;
- (b) the opinion helps determine “a fact in issue”; and
- (c) the opinion is “not based on scientific, technical, or other specialized knowledge” that is governed by Rule 702.

FED. R. EVID. 701.

In this case, Witness’s testimony meets all three requirements. First, Witness saw Driver’s car as it approached the intersection and was able to perceive its speed. In addition, Witness was able to observe Driver’s speed relative to that of other cars around it, and Witness observed that Driver’s car was moving noticeably faster than surrounding cars. These perceptions provide a rational and logical basis for Witness’s opinion that the car was speeding.

Second, there is no question that whether Driver was speeding is a fact relevant to Pedestrian’s claim. If Driver was speeding, that fact would make it more likely that Driver was driving negligently and that Driver’s negligence caused the collision.

Finally, Witness is not an “expert in disguise” who is attempting to sneak in an opinion based on scientific or engineering principles. Witness’s opinion that Driver was speeding is a commonsense conclusion based on direct observations. No specialized training, experience, or education is necessary to form a valid opinion on such a basis.

[NOTE: How much weight the jury should give this opinion is an issue for the jury and does not affect admissibility.]

Point Two (25%)

The court should not admit Spouse’s testimony regarding Pedestrian’s character trait of being cautious and risk-averse.

Spouse’s proposed testimony that Pedestrian is very cautious and risk-averse is testimony about Pedestrian’s character. The purpose of offering the testimony is to suggest that Pedestrian would have acted consistently with that character on the day in question and would have checked before entering the intersection. If true, that would tend to establish that Pedestrian was not negligent. The evidence is therefore relevant.

However, Federal Rule of Evidence 404(a) restricts the use of character evidence, even when such evidence is relevant. Rule 404(a) provides that “evidence of a person’s character or a trait of character is not admissible for the purpose of proving action in conformity therewith on a particular occasion,” except in three situations that apply exclusively to criminal trials. Here, Spouse’s testimony that Pedestrian generally is cautious and risk-averse is relevant precisely because it suggests that on the day of the collision Pedestrian was acting in a cautious and risk-averse manner. This is exactly what Rule 404(a) forbids, and the testimony is inadmissible.

Point Three (25%)

The court should admit Pedestrian’s testimony about Pedestrian’s cell phone usage habits.

Habit evidence is admissible to prove that a person acted in conformity with that habit. FED. R. EVID. 406. This is true even if the only evidence of a habit is Pedestrian’s own testimony. Rule 406 specifically authorizes the use of habit evidence “whether corroborated or not and regardless of the presence of eyewitnesses.” Pedestrian’s testimony will provide sufficient background information to establish that she actually has a habit of lowering her cell phone and looking both ways when crossing a street. Pedestrian claims to have acted in conformity with this habit when entering the intersection, which is relevant to Pedestrian’s defense against Driver’s claim that Pedestrian was contributorily negligent. Therefore, this evidence is admissible.

Point Four(a) (15%)

The court should admit the evidence of Pedestrian’s memory loss.

Pedestrian’s concussion is relevant, albeit indirectly, to determining who is liable for the collision. Pedestrian intends to testify at trial about what happened, but the concussion has erased some of her memory. Evidence of memory loss is relevant because it has a tendency to suggest to the jury that Pedestrian’s testimony concerning the events related to the collision is less reliable. The evidence of memory loss may make the facts to which Pedestrian testifies “less probable.” FED. R. EVID. 401. Rule 403 is not a basis to deny Driver’s motion because it would not be “unfairly prejudicial” to Pedestrian to allow Driver to benefit from Pedestrian’s inability to recall what happened. *Cf. Davis v. Alaska*, 415 U.S. 308, 316 (1974) (“[T]he cross-examiner is . . . permitted to delve into the witness’[s] story to test the witness’[s] perceptions and memory . . .”).

Point Four(b) (15%)

The court should exclude the evidence of Pedestrian’s other injuries.

Rules 401–403 also establish that evidence of Pedestrian’s fractures is not relevant and not admissible. The parties have stipulated to these injuries and have agreed on the value of the compensation due to Pedestrian if Driver is responsible for these injuries. Therefore, the fact that Pedestrian suffered these additional injuries does not, by itself, tend to prove any fact of consequence in dispute that will aid in the determination of who caused the collision. Therefore, such evidence is a “waste of time” under Rule 403. It is also “unfairly prejudicial in the sense that the evidence is unnecessary and might cause the jury improperly to sympathize” with Pedestrian without advancing the factual inquiry at all. *See, e.g., Miller v. New Jersey Transit Authority Rail Operations*, 160 F.R.D. 37, 42 (D.N.J. 1995) (bifurcating damages phase of trial from liability necessary because “the severity of Plaintiff’s injuries would prejudice the defendants so severely if issues of liability and damages were not bifurcated that the defendants would not receive a fair trial”).

[NOTE: To the extent that Driver’s introduction of evidence of Pedestrian’s memory loss includes evidence of the severity of Pedestrian’s injuries, Pedestrian can argue, and the judge could find, that the parties’ stipulation has been violated. If the stipulation is no longer in effect, this could open the door to admission of evidence of Plaintiff’s other injuries, subject to Federal Rules of Evidence 401 and 403.]

TRUSTS ANALYSIS

(Trusts I.C.1., I.1.; II.A., C.; III.B.)

ANALYSIS

Legal Problems

- (1) Did the class of “Settlor’s surviving children” remain open following the creation of the trust so that Doris shares in the gift?
- (2) Does the share of Alan, who predeceased Settlor, pass to Alan’s child or Settlor’s surviving children?
- (3) Did Claire effectively disclaim her remainder interest in the trust, and, if so, to whom does her disclaimed interest pass?
- (4) Did Bank breach its obligation to invest trust assets prudently by investing, at Settlor’s direction and acquiescence, 90% of the portfolio in the stock of a closely held corporation and by maintaining this investment despite the stock’s depreciation?

DISCUSSION

Summary

Doris is eligible to take a share of trust assets because the class of “Settlor’s surviving children” did not close until Settlor’s death. In all states, Ben and Doris would receive a share of the assets as surviving children of Settlor. Alan, who predeceased Settlor, would lose his share as would Claire, because her disclaimer is effective and precludes her from sharing in the estate. In most states Ben and Doris would each take one-half of the trust assets because Claire is deemed to have predeceased Settlor because of the disclaimer. However, in states that have adopted Uniform Probate Code § 2-707 or a like statute, trust assets would be divided into four equal shares, and the children of Alan and Claire would take, by representation, the shares their respective parents would have received. Because Settlor directed the investment in XYZ and acquiesced in its retention by Bank, Bank is probably not liable for losses on that investment.

Point One (20%)

Doris is entitled to share in the trust remainder because the class of “Settlor’s surviving children” did not close until Settlor’s death.

If a gift is made to a class of persons, such as a named person’s children, the class closes (i.e., additional persons may no longer join the class) when the named person dies or the gift becomes possessory. *See* WILLIAM M. MCGOVERN, JR., AND SHELDON F. KURTZ, WILLS, TRUSTS AND ESTATES § 10.3 at 429 (3d ed. 2004); RESTATEMENT (THIRD) OF PROPERTY (WILLS AND OTHER DONATIVE TRANSFERS) § 15.1, cmt. e.

Here, Settlor's death closed the class of Settlor's "surviving children" under either test. Thus, all of Settlor's children, including Doris, who was born before the class closed, are eligible to share in the gift.

Point Two (20%)

The share that would have passed to Alan had he survived Settlor passes to Ben and Doris, the surviving members of the class, unless the state has adopted a survivorship rule like Uniform Probate Code § 2-707. If the Uniform Probate Code applies, Alan's share passes to his child.

When a remainderman (such as Alan) predeceases the life tenant, the trust assets are distributed based on the directives contained in the trust instrument. Here the assets pass to Settlor's other "surviving children" (i.e., Ben, Claire, and Doris) as the trust instrument specifically provided that, upon Settlor's death, the trust property should be distributed to Settlor's surviving children. (But see Point Three with respect to Claire's disclaimer of her interest.)

In states that have adopted Uniform Probate Code § 2-707 or a like statute, the outcome is different. Under § 2-707, if a gift is made in trust to a class of persons described as "children," a deceased child's descendants take the deceased child's share by representation. The use of the word "surviving," as here, does not change that result. *See* UNIF. PROBATE CODE § 2-707(b)(3). Thus, if the Uniform Probate Code or a like statute applies, Alan's share would pass to Alan's child.

[NOTE: The following states have enacted a form of Uniform Probate Code § 2-707: Alaska, Arizona, Colorado, Hawaii, Massachusetts, Michigan, North Dakota, New Mexico, and Utah.]

Point Three (30%)

Claire effectively disclaimed her interest in the trust. Under most state laws, her interest goes to those persons to whom it would have passed had she predeceased Settlor. In this case, the interest would pass to Ben and Doris, the remaining members of the class of "Settlor's surviving children." However, in states that have adopted a survivorship rule like Uniform Probate Code § 2-707, Claire's interest would pass to her child.

Almost all states have enacted disclaimer statutes that permit beneficiaries of wills and trusts to disclaim their interests in the estate or trust property. In most states, a disclaimer is not effective unless it is in writing and is made, for a testamentary transfer, within nine months of the decedent's death or, for a future interest in a nontestamentary transfer, within nine months after the future interest would become "indefeasibly vested." *See generally* UNIF. PROBATE CODE § 2-801(b) (1969). Both requirements were met in this case, with the result that Claire's disclaimer is effective. Claire's disclaimer would also be effective under the newest version of the Uniform Probate Code, which permits a disclaimer at any time prior to acceptance of the interest. *See id.* § 2-113.

When the holder of a future interest effectively disclaims that interest, the disclaimant is deemed to have predeceased the life tenant. Thus, Claire is deemed to have predeceased Settlor. *See, e.g., id.* § 2-1106 cmt. example 4(b). Under the common law, Claire's disclaimed share would pass to Ben and Doris, the surviving class members. However, under § 2-707 or a like statute, Claire's child would take Claire's share notwithstanding the express survivorship contingency in the trust instrument. *See id.* § 2-1106 cmt. example 4(b). (*See* Point Two.)

Trusts Analysis

[NOTE: The following states have enacted a form of Uniform Probate Code § 2-707: Alaska, Arizona, Colorado, Hawaii, Massachusetts, Michigan, North Dakota, New Mexico, and Utah.]

Point Four (30%)

Bank may have breached its duties to invest prudently and diversify trust investments. However, whether Bank is liable for these breaches depends upon whether acting pursuant to the directions of the settlor of a revocable trust excuses Bank from its duties to diversify and act prudently.

A trustee is under a duty to “invest and manage trust assets as a prudent investor would.” UNIF. PRUDENT INVESTOR ACT § 2. The obligation to invest and manage prudently normally requires the trustee to diversify trust investments. *Id.* § 3. A trustee is also expected to consider the trust’s “needs for liquidity . . . and preservation or appreciation of capital.” *Id.* § 2(c)(7).

If the trust here had been irrevocable, there is almost no doubt that Bank would be found to have breached its duties. First, by investing 90% of the trust assets in one stock, Bank failed to diversify. Second, Bank failed to preserve trust capital. Bank was aware that XYZ was declining in value and was suspicious of mismanagement by its directors, but Bank nonetheless retained the investment. XYZ was also a closely held stock. Although such an investment is not explicitly proscribed by the Uniform Act, it was disfavored in some earlier versions of the prudent investor rule. The commitment of 90% of trust assets to such an investment thus may have conflicted with the trustee’s obligation to preserve liquidity and capital.

While a strong case can be made that Bank acted imprudently, Bank may not be liable because it acted in accordance with Settlor’s express direction and continued acquiescence. Acting in accordance with a settlor’s directives is inadequate to absolve a trustee from liability when a trust is irrevocable because the trustee’s obligations are owed to trust beneficiaries. But when, as here, there were no income beneficiaries other than Settlor and Settlor held the power to revoke the trust, Settlor could be treated as the effective owner, thus absolving Bank of liability to Settlor and all other trust beneficiaries.

Uniform Trust Code § 603 specifically provides that, with respect to a revocable trust, a trustee’s duties are “owed exclusively to” the settlor. Moreover, Uniform Prudent Investor Act § 3 provides that a trustee shall diversify trust investments unless the trustee “reasonably determines that, because of special circumstances, the purposes of the trust are better served without diversifying,” and Uniform Prudent Investor Act § 2 directs the trustee to “consider[] the purposes, terms, . . . and other circumstances of the trust” in managing its assets. Under the Restatement of Trusts, the terms of a trust include the “intentions of the settlor manifested in any way that admits of proof.” RESTATEMENT (THIRD) OF TRUSTS § 90 (1992 § 227), cmt. b. This approach reflects the view that the settlor of a revocable trust has an interest in trust assets that is the practical equivalent of ownership. In addition, trustees are not generally liable for “consented to” acts and can defend against charges of imprudence by proving a waiver.

Given these principles and the fact that Settlor directed Bank to invest in XYZ and was aware of the situation at XYZ, but told Bank that he expected things would turn around, an argument can be made that Bank is not liable for the imprudent investment in XYZ.

NEGOTIABLE INSTRUMENTS ANALYSIS

(Negotiable Instruments IV.A., B., D.; V.B.)

ANALYSIS

Legal Problems

- (1)(a) Is Dealer entitled to enforce the \$10,000 check against Lawyer?
- (1)(b) Does Lawyer have a defense to payment of the check to Dealer?
- (1)(c) Is Lawyer's defense of ordinary fraud available against Dealer, the holder of an instrument who received it in exchange for a promise that has not yet been performed?
- (2) When a check with a forged indorsement is transferred to a check-cashing service, is the original payee of the check entitled to recover from the check-cashing service when the forgery was committed by an employee to whom the payee had given responsibility for handling the check?

DISCUSSION

Summary

Dealer is a holder of the \$10,000 check that was dishonored and can enforce the check against Lawyer. However, Lawyer signed the check only because of Employee's fraud, and Lawyer therefore has a defense to payment that can be asserted against anyone who is not a holder in due course. Dealer is not a holder in due course because Dealer did not give value for the check—Dealer never delivered the car to Employee. Thus, although Dealer can enforce the check, Dealer will be subject to Lawyer's defense of fraud in the inducement.

Checkco is not liable to Lawyer for taking the \$5,000 check with the forged indorsement because Employee was entrusted by Lawyer with responsibility for the check and, therefore, for these purposes, Employee's forgery is effective as the indorsement of Lawyer.

[NOTE: Because the facts of this question include the collection of checks by banks, UCC Article 4 (Bank Deposits and Collections), which is not included in the Negotiable Instruments specifications for the MEE, is implicated. However, the issues raised by this question are Article 3 (Negotiable Instruments) issues, and reference to UCC Article 4 is not necessary to resolve them.]

Point One(a) (20%)

Dealer is entitled to enforce the check against Lawyer because Dealer is a holder of the check.

The \$10,000 check is payable to the order of Dealer and is in Dealer's possession. Dealer is accordingly a holder of the check, UCC § 1-201(b)(21), and is "a person entitled to enforce" it.

Negotiable Instruments Analysis

UCC § 3-301. Lawyer signed the check as drawer and the check has been dishonored. Therefore Lawyer is obliged to pay the check to a person entitled to enforce it. UCC § 3-414. Consequently, Dealer has a *prima facie* claim to payment from Lawyer.

Point One(b) (25%)

Lawyer has a personal defense of fraud in the inducement.

Lawyer has a defense to payment. Lawyer signed and issued the check because of Employee's fraudulent act of including the check among a group of checks intended to pay Lawyer's ordinary business expenses. Under UCC § 3-305, this fraud is a defense to Lawyer's obligation to pay the check. *See* UCC 3-305(a)(2) & cmt. 2 ("the obligation of a party to pay an instrument" is subject to any defense that would be available to the party in an action to enforce "payment under a simple contract," including defenses of fraud, misrepresentation, and mistake). Dealer, as a person entitled to enforce Lawyer's check, will be subject to this defense unless Dealer is a holder in due course. *See* UCC §§ 3-305(a), 3-305(b) (in general, the right to enforce an instrument is subject to both real and personal defenses, but a holder in due course is subject only to the so-called "real defenses," which do not include ordinary fraud).

[NOTE: Some applicants may erroneously argue that this defense is good even against a holder in due course because there was fraud in the factum—Lawyer did not know what he was signing. But UCC § 3-305(a)(1) allows a fraud defense to be asserted against a holder in due course only if the fraud induced the obligor to sign the instrument without a "reasonable opportunity" to learn its terms. Here Lawyer knew he was signing a check and had an opportunity to learn its terms—he could have read it.]

Point One(c) (25%)

Dealer is not a holder in due course because he did not give value for the check.

A holder in due course is a holder who took the instrument for value, in good faith, and without notice of, *inter alia*, any defenses to it. UCC § 3-302(a). Although Dealer does not appear to have acted in bad faith or to have had notice of Lawyer's defense, Dealer has not given "value" for the instrument within the meaning given to that term in Article 3 of the UCC.

Here Dealer took the negotiable instrument (the check) as payment for the car. However, Dealer has not delivered the car. When a negotiable instrument "is issued or transferred for a promise of performance," the promisor gives value only "to the extent the promise has been performed." UCC § 3-303(a)(1). Thus, because Dealer did not perform its promise—delivering the car—it did not take the check for value.

Because Dealer did not take the check for value, Dealer is not a holder in due course. Dealer, as a mere holder, is therefore subject to Lawyer's defense. Lawyer does not have to pay \$10,000 to Dealer.

Point Two (30%)

Even though Checkco took the stolen check, it is not liable to Lawyer because Lawyer had entrusted responsibility for the check to Employee, and Employee's fraudulent indorsement of the check in Lawyer's name therefore is treated as an effective indorsement.

The check that was transferred to Checkco was originally made payable to the order of Lawyer. While the check appeared to carry Lawyer's indorsement, the indorsement had been forged by Employee. Normally, the forged indorsement would be ineffective, Employee would not be a holder of the check or a person entitled to enforce it, and Checkco's action of taking the check by transfer from Employee would be a conversion of that check for which Checkco would be liable to Lawyer. UCC § 3-420(a). *See also* UCC §§ 1-201(b)(21) (definition of holder), 3-301 (definition of person entitled to enforce).

In this case, however, the result is different. According to the facts, Employee had the authority to process checks and to deposit those checks in Lawyer's business account. This constitutes "responsibility" for those checks. *See* UCC § 3-405(a)(3). Because the fraudulent indorsement of Lawyer's signature on the instrument was perpetrated by Employee, a person to whom Lawyer entrusted "responsibility with respect to the instrument," the indorsement is effective as Lawyer's indorsement. UCC § 3-405. Inasmuch as the indorsement was effective, Employee was a holder of the check and, thus, a person entitled to enforce it. As a result, Checkco did not obtain transfer of the check from a person not entitled to enforce it and, accordingly, Checkco's action did not constitute conversion and Checkco is not liable to Lawyer for the amount of the check.

[NOTE: Lawyer would have a claim to recover some part of the loss from Checkco if Checkco "fail[ed] to exercise ordinary care" in taking the instrument from Employee and that failure contributed to the loss. *See* UCC § 3-405(b). There are no facts in the problem to suggest a lack of care by Checkco, but some applicants may note the possibility that Lawyer could recover some portion of the value of the check from Checkco if Lawyer proved that Checkco failed to exercise ordinary care.]

[NOTE: References to UCC § 1-201 are to the current official text. In states in which former Article 1 is still in effect, citations will be slightly different. There is no difference in substance.]

July 2010 MEE

► *QUESTIONS*

Agency and Partnership

Contracts/Negotiable Instruments

Decedents' Estates

Constitutional Law

Real Property

Family Law

Federal Civil Procedure

Criminal Law

Corporations

AGENCY AND PARTNERSHIP QUESTION

On January 2, Fran opened Petals, a floral shop, and operated it as a sole proprietorship. Petals soon ran into financial difficulties, and Fran could not pay its bills.

On March 1, Fran asked her friends Gina and Hank for financial help.

On April 1, in response to Fran's request, Gina delivered a check payable to "Petals" to Fran. In exchange for this contribution, Fran agreed to pay Gina 25% of the monthly net profits of Petals for as long as Petals remained in business. Gina also agreed that, if Petals suffered losses, she would share those losses with Fran.

Gina began working at the shop with Fran and helped Fran with business planning for Petals.

On April 2, also in response to Fran's request, Hank delivered a check payable to "Petals" to Fran and noted on the memo line of the check "loan to Petals." Hank agreed to accept 25% of the monthly net profits of Petals until his loan (plus interest) was repaid in full.

Fran used the proceeds of the checks from Gina and Hank to purchase equipment, supplies, and a delivery truck in the name of Petals.

Beginning in April, on the last day of each month, Fran distributed to both Gina and Hank 25% of Petals' monthly net profits.

On September 1, Gina wrote a letter to her son Ivan stating that she was assigning to Ivan, as a gift, all of her interest in Petals effective immediately. Gina gave a copy of that letter to Fran. Fran told Gina, "I don't want anything to do with Ivan." Gina continued to be active in the business operations of Petals.

On September 30, Fran distributed the monthly net profits of Petals to Gina and Hank, but distributed nothing to Ivan.

On October 10, Ivan demanded that Fran distribute Gina's share of Petals' net profits to him and that she also allow him to inspect the books and records of Petals.

On October 15, Gina learned that Fran was using Petals' delivery truck on Sundays to transport her children to their soccer games. Gina demanded that Fran stop doing so, but Fran refused, noting that the truck was not being used for Petals' business on Sundays.

1. What is the legal relationship among Fran, Gina, and Hank? Explain.
2. Is Ivan entitled to Gina's share of the monthly net profits of Petals? Explain.
3. Is Ivan entitled to inspect the books and records of Petals? Explain.
4. Is Fran entitled to use the delivery truck on Sundays to take her children to their soccer games? Explain.

CONTRACTS/NEGOTIABLE INSTRUMENTS QUESTION

Buyer, who was in the market for a car, heard that Seller wanted to sell his car for \$5,000. On June 1, Buyer visited Seller and saw the car. Buyer asked Seller about the car's condition. In response, Seller said, "The car is in tip-top shape—the brakes and clutch were replaced in the last six months. It's in beautiful shape for a vehicle of this age. Good for another 100,000 miles easy."

Seller agreed to sell the car to Buyer for \$5,000. They both signed the following document: "Seller agrees to sell, and Buyer agrees to buy, Seller's car for the price of \$5,000. Buyer will pick up the car at Seller's home on June 2 and pay Seller \$4,000 in cash and give Seller a check for \$1,000 at that time."

On June 2, Buyer came to Seller's home. Before handing the check to Seller, Buyer said, "I'd like my mechanic to look at the car to make sure that it is as you represented it." Seller responded, "Don't waste money on a mechanic. The car is exactly as I described it." Even though Buyer, while at Seller's home, had no way to tell if the brakes and clutch were as represented, Buyer thought that it would be a waste of time and money to visit a mechanic and thus decided to proceed with the transaction. Accordingly, after briefly inspecting the car, Buyer gave Seller \$4,000 in cash and a \$1,000 check drawn on First Bank. Seller handed Buyer the keys to the car, and Buyer left with the car.

On June 3, Seller went to Checkco, where he indorsed the back of Buyer's check by signing his name with no other words and handed the check to the clerk in exchange for \$950 in cash. Checkco was unaware of any facts about the transaction that gave rise to the check.

On June 10, the car broke down and Buyer had it towed to a mechanic's shop. After looking at the car, the mechanic accurately told Buyer that the clutch had failed because it was old and needed to be replaced. The mechanic also warned Buyer that the brakes were unsafe and that the engine needed a complete overhaul or it wouldn't last another 10,000 miles. The mechanic told Buyer that if the car had been as represented by Seller, it would have had a market value of \$5,000, but in its current condition the car was worth only about \$500—its value as salvage for parts.

On June 11, Buyer hand-delivered a letter to Seller. The letter informed Seller that Buyer was revoking his acceptance of the car and that Seller could recover his car at the mechanic's shop. Buyer also visited First Bank and instructed it to refuse to pay the check that Buyer had given Seller.

On June 12, an agent of Checkco went to First Bank and demanded payment of Buyer's check. First Bank refused to pay the check because of Buyer's instruction and gave the check back to the agent. Checkco then promptly gave notice of First Bank's refusal to pay to both Seller and Buyer.

1. What rights, if any, does Buyer have against Seller? Explain.
2. What rights, if any, does Checkco have against Buyer and against Seller? Explain.

DECEDENTS' ESTATES QUESTION

Three years ago, Testator told his attorney to draft a will leaving \$20,000 to his Sister and the balance of his estate to his children. Testator told his attorney that he was divorced and that he had two children, Abby and Bruce, both biological children born during Testator's first marriage. Testator did not tell the attorney that he had adopted his stepchild, Carl, when Carl was two years old.

The attorney prepared a typed will based on Testator's instructions. When Testator came to the attorney's office to execute the will, the attorney placed the three unstapled pages of the will on her desk and said to Testator, "Please sign your will."

Page 1 of the will included introductory clauses and two bequests reading: "I give \$20,000 to Sister. I give the balance of my estate to my children, in equal shares." Pages 2 and 3 of the will contained clauses relating to the responsibilities of the executor. At the bottom of page 3, there were lines for Testator's and his witnesses' signatures and an attestation clause.

Testator, in the presence of two witnesses, read the three pages, declared the document on the attorney's desk to be his will, and signed it on the line provided on page 3. Both witnesses, who were able to see all three pages, signed their names underneath Testator's signature and again under the attestation clause. The attorney thereafter folded the three pages together and gave them to Testator.

Two years ago, Testator decided that he wanted to leave more money to Sister. To accomplish this, Testator crossed out the bequest reading "I give \$20,000 to Sister" on page 1 of the will and wrote above the crossed-out phrase, "I give \$40,000 to Sister."

Last month, Testator died. Testator's will, all three pages folded together, was found in a night table in Testator's bedroom. Abby, Bruce, Carl, and Sister survived Testator. In addition, Don claims to be Testator's nonmarital child.

The only relevant state statutes provide:

- I. "No will or codicil thereto is valid unless signed by the testator and two attesting witnesses."
 - II. "A will may be revoked, in whole or in part, by destruction or cancellation."
 - III. "If a decedent dies intestate survived by children and no spouse, the decedent's entire estate passes to his children, in equal shares."
- 1. Is Testator's will valid? Explain.
 - 2. To whom should Testator's estate be distributed? Explain.

CONSTITUTIONAL LAW QUESTION

The Church of Peace (the Church) is a religious organization that advocates “peace to everyone.” Recently, a Church chapter (Chapter) was organized in the town of Homestead. Chapter members decided to spread the Church’s message to the people of Homestead by handing out leaflets that proclaimed in bold letters, “PEACE TO ALL!” Chapter members who participated in passing out the leaflets stood on a public sidewalk and distributed the leaflets to pedestrians. The Chapter members did not block traffic or take any actions except passing out leaflets and remarking, “Peace to all!”

Many people who took the leaflets threw them onto the sidewalk, and Homestead employees spent several hours cleaning up these discarded leaflets. Chapter was fined \$3,000 under a municipal anti-leafletting ordinance that prohibits any distribution of leaflets “in or on any public space, including roads, streets, and sidewalks.” No Chapter member threw leaflets or other litter onto the ground.

Chapter members who attend High School, a public school in Homestead, recently formed the “Church of Peace Club” (Church Club) to pray together and to do good works. High School has a policy that permits student groups to meet in High School classrooms after scheduled classes. Under this policy, student groups must first obtain permission from Principal before using a classroom for a meeting. Pursuant to this policy, the Chess Club, the Drama Club, and the Future Lawyers Club all use classrooms for after-school meetings. Church Club officers asked Principal if they could meet in a classroom after school. Principal denied this request and stated that after-school use of a classroom by Church Club would be “a violation of the separation of church and state.”

Father, a Chapter member and the parent of a Church Club officer, learned about Principal’s decision and went to High School to see Principal. Outside Principal’s office was a sign reading “No admittance without an appointment.” Father, who had no appointment, threw open the closed door and marched into Principal’s office, interrupting a meeting between Principal and another parent, and told Principal, “Your policy is unwise and unconstitutional. I believe that you are discriminating against members of my faith.” Principal asked Father to leave the office until the meeting with the other parent was concluded, but Father refused. Principal called the police, who forcibly removed Father from Principal’s office.

Father was convicted of trespassing on government property.

Does the First Amendment, as applied to state and local governments through the Fourteenth Amendment,

1. Preclude Homestead’s enforcement of its anti-leafletting ordinance against Chapter? Explain.
2. Preclude Principal’s denial of Church Club’s request to use classroom space for its meetings? Explain.
3. Provide grounds to vacate Father’s trespass conviction? Explain.

REAL PROPERTY QUESTION

Eighty years ago, Owner, the owner of vacant land known as Blackacre, conveyed Blackacre to a local school district (School) “if School uses Blackacre only to teach children aged 5 to 13.” Shortly after acquiring title to Blackacre, School erected a classroom building on Blackacre and began teaching children aged 5 to 13 in that building.

Seventy years ago, Owner died and left his entire estate to Daughter.

School used the classroom building to teach its students aged 5 to 13 until three years ago when, due to increasing enrollments, School built a new classroom building three miles from Blackacre and converted the classroom building on Blackacre into administrative offices.

The building on Blackacre is now exclusively occupied by administrative offices, and all School students aged 5 to 13 are taught in the new classroom building.

Two years ago, Daughter died. Daughter did not object to School’s altered use of Blackacre before her death. She devised her entire estate to her Husband for life, with the remainder to “my surviving children.” Daughter was survived by Husband and two children, Ann and Bill.

One year ago, Bill died. Bill’s entire estate passed to his wife, Mary.

One month ago, Husband, the life tenant under Daughter’s will, died. Husband was survived by Ann and by Bill’s widow, Mary.

State law provides:

- I. “Actions to recover the possession of real property shall be brought within 10 years after the cause of action accrues.”
- II. “All future interests are alienable, devisable, and descendible to the extent they do not expire as a result of the holder’s death.”
- III. “Conditions and limitations in a deed shall not be construed as covenants.”

There are no other relevant statutes.

What interests, if any, do School, Ann, and Mary have in Blackacre? Explain.

FAMILY LAW QUESTION

Fifteen years ago, Husband and Wife married in State A. At the time of the marriage, Husband and Wife were both 35 years old, and each had a high school education. Wife worked as an administrative assistant for a manufacturing company, where she had been employed for six years. Husband was unemployed.

Husband was a spendthrift with a history of selling his possessions to fund unsuccessful business ventures. Aware of his personal failings, Husband asked Wife to enter into a premarital agreement under which (a) Wife would become the sole owner of all assets owned by Husband before his marriage to Wife; (b) Wife would pay all of Husband's premarital debts; (c) if Husband and Wife divorced, Wife would have exclusive rights to all assets acquired by either Husband or Wife during their marriage; and (d) if Husband and Wife divorced, both would waive all claims to alimony. Wife agreed to Husband's proposal. Husband and Wife both disclosed their assets to each other.

Attorney thereafter prepared a premarital agreement based on Husband's and Wife's understanding. Husband and Wife signed the agreement one week after a meeting at which Attorney explained the consequences of signing the agreement. The agreement contained a provision stating that both Husband and Wife had chosen to forgo individual representation by a lawyer. After signing the agreement, Husband transferred title to his assets to Wife.

Throughout the marriage, Wife has performed virtually all household chores. Wife has also worked full time at the manufacturing company; at times, she has also held a part-time job to pay for household expenses. Wife paid Husband's premarital debts with her earnings and with some of the assets Husband had transferred to her. She sold the balance of the assets Husband had transferred to her to pay for flying lessons for Husband. Husband got a commercial pilot's license after taking these lessons but never tried to find work as a pilot. Instead, Husband worked at part-time odd jobs until five years ago, when he was injured in a car accident. Thereafter, Husband claimed he was disabled and ceased working altogether. Wife currently earns \$35,000 per year.

Wife has sued Husband for divorce in State A, which terms spousal support "alimony." Husband claims that he is entitled to alimony and a share of the couple's assets. Wife claims that she is entitled to all assets titled in her name and in Husband's name. These assets are (a) the marital home, purchased by Wife during the marriage and titled in Wife's name; (b) Wife's employment pension; and (c) real estate inherited by Husband during the marriage and titled in Husband's name.

Wife has asked your law firm these questions:

1. Is the premarital agreement enforceable? Explain.
2. If the premarital agreement is unenforceable, what assets are divisible at divorce? Explain.
3. If the premarital agreement is unenforceable, is Husband entitled to alimony? Explain.

FEDERAL CIVIL PROCEDURE QUESTION

Until recently, Paul had always lived in State A. Last year, he decided he would move to State B for at least one year and, after a year, decide whether to remain in State B or return to State A. Six months ago, Paul moved to State B, rented an apartment, and took a job as a temporary employee. Paul has enjoyed living in State B so much that he recently left his temporary job and accepted a position as a permanent employee at a law firm in State B.

Shortly after he moved to State B, Paul bought a vacation home in State A, which he visits about once a month for two or three days. To pay for the vacation home, Paul obtained a loan from Credit Union in State A. Credit Union is incorporated in and chartered by State A. Its only office, located in State A, is both its corporate headquarters and the place where it transacts business with its customers. Ninety-five percent of Credit Union's customers are State A residents who do business with Credit Union in person at its State A office.

Paul's loan agreement with Credit Union provides that he will repay the loan in monthly installments over a 30-year period. Credit Union has a mortgage on Paul's vacation home to secure the debt. The loan paperwork lists Paul's State B address as his mailing and home address. The loan agreement also contains a privacy provision whereby Credit Union agrees not to disclose Paul's personal information to any third party without Paul's written permission. Credit Union sends a loan statement and payment coupon to Paul's State B address each month, and Paul returns the payment coupon with a check for the payment amount.

After the loan closed, a Credit Union employee mailed copies of all the loan paperwork to Paul. Unfortunately, the employee misread Paul's address in State B and sent the paperwork to an incorrect address. Several months later, Paul discovered that someone had gotten his loan paperwork and had used the information (including Paul's Social Security number and credit card numbers) to steal his identity. The identity thief had quickly accumulated \$150,000 in unpaid bills in Paul's name. Paul's credit rating was ruined, and no one would extend him new credit.

Paul has sued Credit Union in the United States District Court for the District of State B for breach of the privacy provisions of the loan contract. The parties have stipulated that Paul's actual loss was \$80,000. Paul's suit seeks \$240,000 in damages, plus attorney's fees, pursuant to a State A statute that entitles victims of identity theft to recover treble damages and attorney's fees from anyone who wrongfully discloses their personal information. Paul's complaint also asserts that a federal statute restricting damages in state-law identity-theft cases to actual damages is unconstitutional and therefore does not preempt the treble damages provisions of the State A statute. The complaint asserts that the State B federal court has both diversity and federal-question jurisdiction over the case.

The long-arm statute of State B extends personal jurisdiction as far as the Constitution allows.

1. May the United States District Court for the District of State B exercise personal jurisdiction over Credit Union? Explain.

2. Does the United States District Court for the District of State B have diversity jurisdiction over the case? Explain.
3. Does the United States District Court for the District of State B have federal-question jurisdiction over the case? Explain.

CRIMINAL LAW QUESTION

Customer went to Star Computers (Star) to buy a refurbished computer. Upon arrival, Customer was approached by Owner, who identified himself as the owner of Star. Owner directed Customer to a refurbished desktop computer and told Customer, "We have the best refurbished computers in town. We send used computers to a computer technician who always installs new hard drives and replaces any defective parts." Owner made these claims because Owner believed that they would be effective in persuading Customer to buy a refurbished computer. In fact, Customer was persuaded by Owner's claims and purchased a computer for \$250 cash.

At the time of this transaction, Owner did not believe that Star had the best refurbished computers in town. Owner was aware of at least two other computer stores in town and believed that the refurbished computers sold by these other stores were better than those sold by Star. Owner also thought it was very likely that the computer technician used by Star did not actually install new hard drives in the refurbished computers. Owner had never raised the issue with the technician because the technician offered much faster service and lower rates than those of any other technician in the area.

After Customer's purchase, a local news station conducted an investigation into the computer technician used by Star and reported that the technician did not install new hard drives in any of the computers she refurbished. After the report aired, the computer technician acknowledged that no new hard drives had been installed in the computers she had refurbished for Star.

Owner has been charged with larceny by false pretenses in connection with the computer sale to Customer.

Is Owner guilty of larceny by false pretenses? Explain.

CORPORATIONS QUESTION

On December 30, X Corporation's legal record date, X Corporation had 100 shares of issued and outstanding common stock. Fifty shares were owned by Amy, 25 shares were owned by Brian, and 25 shares were owned by Carter. X Corporation also had 50 shares of stock that it previously had issued to, but later repurchased from, Amy.

On January 30, X Corporation's annual shareholders' meeting was validly held. Before the meeting, X Corporation's staff prepared a list of shareholders entitled to vote at the meeting and mailed proper notice to them. That notice stated that a proposal requiring shareholder approval would be voted on at the annual shareholders' meeting.

Before the annual shareholders' meeting and in a timely manner, Amy mailed in her duly executed proxy, directing the secretary of X Corporation to vote her 50 shares in favor of the proposal. However, before the annual shareholders' meeting date, Zach called the secretary of X Corporation and truthfully told the secretary that Amy's shares belonged to Zach because he had bought the shares from Amy on December 31. Zach then mailed the secretary a duly executed proxy directing the secretary of X Corporation to vote his 50 shares against the proposal.

Prior to the annual shareholders' meeting, Brian duly executed a proxy in favor of Dell. The proxy stated in its entirety, "I, Brian, hereby grant Dell full authority to vote my 25 shares of X Corporation at the January 30th annual shareholders' meeting." Dell timely mailed a duly executed proxy directing the secretary of X Corporation to vote Brian's 25 shares against the proposal. Dell also sent the secretary a copy of the proxy given to Dell by Brian. Brian, however, attended the annual meeting and voted his 25 shares in favor of the proposal.

Carter personally appeared at the annual shareholders' meeting and voted his 25 shares against the proposal.

X Corporation's president attended the annual meeting and, on behalf of X Corporation, voted the 50 shares that X Corporation had repurchased from Amy against the proposal.

X Corporation's Articles of Incorporation require an affirmative vote by the holders of two-thirds of the shares entitled to be voted to approve any proposal at a shareholders' meeting. The bylaws, on the other hand, require a unanimous vote of such shares to approve any proposal.

Your law firm represents X Corporation. You have been asked to advise the firm's senior partner on whether the proposal received sufficient votes to be approved. Explain your conclusion.

July 2010 MEE

► *ANALYSES*

Agency and Partnership

Contracts/Negotiable Instruments

Decedents' Estates

Constitutional Law

Real Property

Family Law

Federal Civil Procedure

Criminal Law

Corporations

AGENCY AND PARTNERSHIP ANALYSIS

(Agency and Partnership V.A.; VI.; VII.A. & B.)

ANALYSIS

Legal Problems

- (1) What is the legal relationship among Fran, Gina, and Hank?
- (2) Is Ivan entitled to Gina's share of the monthly net profits of Petals?
- (3) Is Ivan entitled to inspect the books and records of Petals?
- (4) Is Fran entitled to use the delivery truck on Sundays to take her children to their soccer games?

DISCUSSION

Summary

Fran and Gina are general partners in the Petals partnership, but Hank is only a creditor of Petals. As a transferee of Gina's right to receive net profits in Petals, Ivan is legally entitled to Gina's share of those profits. However, that assignment does not make Ivan a partner. Therefore, Ivan does not have a right to inspect the books and records of Petals. Fran is not entitled to use the delivery truck on Sundays to take her children to their soccer games.

Point One (35%)

Fran and Gina are partners in Petals. Hank is a creditor of Petals.

A partnership is defined as "the association of two or more persons to carry on as co-owners a business for profit . . . whether or not the persons intend to form a partnership." UNIFORM PARTNERSHIP ACT (UPA) (1997) § 202(a); *see also* UPA (1914) § 6(1). Here, a partnership was formed when Gina joined Fran in running Petals. Because the partnership was formed *without* the formalities required of other types of partnerships, it is a general partnership.

Fran and Gina each receive a share of the net profits of Petals, and each is therefore presumed to be a partner in the business. UPA (1997) § 202(c)(3); UPA (1914) § 7(4). This presumption is supported by the fact that Gina is to receive her share of the net profits "for as long as Petals remains in business," and that Fran and Gina each work in the business and participate in the business planning for Petals. Further, Gina agreed to share in any losses that Petals might suffer. Therefore, Fran and Gina are partners in the Petals partnership.

Hank also receives a share of the net profits of Petals and, therefore, also might be presumed to be a partner in the partnership. However, this presumption does not apply where those profits are "received in payment of a debt by installment or otherwise." UPA (1997) § 202(c)(3)(i); UPA (1914) § 7(4)(a). The statement on the memo line of Hank's check is evidence that Hank loaned money to the partnership. Hank is entitled to receive a share of the net profits of Petals only until his loan (plus interest) to Petals is paid in full, and therefore he is not

presumed to be a partner in the business. In addition, Hank did not agree to share in any losses that Petals might suffer. Further, Hank does not play any role in the day-to-day operations of Petals. Hank is a creditor of Petals, but is not a partner in the partnership.

Point Two (25%)

As the transferee of a legally transferable interest in the partnership, Ivan is legally entitled to receive distributions that Gina would otherwise have received.

As a partner in the Petals partnership (*see* Point One), Gina has a transferable interest in the profits and losses of the partnership and in her right to receive distributions. UPA (1997) § 502; UPA (1914) § 26. The transfer of that interest is permissible and creates in the transferee a right to receive distributions to which the transferor would otherwise be entitled. UPA (1997) § 503(b)(1); UPA (1914) § 27(1). Here, Gina transferred her right to receive a share of the net profits of Petals to Ivan when she assigned all of her interest in Petals to him. Therefore, Ivan is legally entitled to receive Gina's share of the net profits of Petals.

[NOTE: An applicant might add that a partnership need not give effect to a transferee's rights until it has notice of the transfer. UPA (1997) § 503(e). Here, the partnership had such notice because Gina gave Fran a copy of the letter effecting the transfer. An applicant might also note that the transfer of a partner's right to profits and losses and the right to receive distributions does not effect a termination or dissolution of the partnership.]

Point Three (25%)

Ivan is not entitled to inspect the books and records of Petals because he is not a partner in Petals.

As a partner in the Petals partnership, Gina has a transferable interest in the partnership (*see* Point Two). That interest, however, is limited. For example, a transfer of the partnership interest does not make the transferee a partner unless the other partner or partners consent to making the transferee a partner. On our facts, such consent was not given because Fran said, "I don't want anything to do with Ivan." Therefore, Ivan did not become a partner and is not entitled to access information concerning partnership transactions nor to inspect or copy the partnership books or records. UPA § 503(a)(3); UPA (1914) § 27(1).

Point Four (15%)

The delivery truck is partnership property, and Fran is not entitled to use it on Sundays to take her children to their soccer games.

Property is partnership property if it is acquired in the name of the partnership. UPA (1997) § 204(a)(1); UPA (1914) § 8(1). Partnership property is property of the partnership and not of the partners individually. UPA (1997) § 203; UPA (1914) § 25(1). Here, the delivery truck was purchased in the partnership's name and, therefore, is partnership property and not Fran's individual property. The facts do not suggest that the partners agreed that Fran could use the delivery truck for her own purposes on Sundays, and, absent such an agreement, Fran is not entitled to use the truck to take her children to their soccer games even if the partnership is not using the truck on that day.

[NOTE: Under § 27 of the UPA (1914) and § 503 of the UPA (1997), the transfer of all or any part of a partner's interest is not a dissolution of the partnership. Thus, Gina's gift to her son Ivan of her interest in the partnership does not dissolve the partnership.]

CONTRACTS/NEGOTIABLE INSTRUMENTS ANALYSIS

(Contracts I.A., IV.D., V.; Negotiable Instruments [Commercial Paper] I.; II.A. & B.; III.A. & B.; IV.B. & D.; V.G.)

ANALYSIS

Legal Problems

- (1) Is a seller bound by statements about goods made by him in conjunction with their sale?
- (2) Under what circumstances may a buyer revoke acceptance of goods that do not conform to the contract?
- (3) What are the rights of a buyer who has revoked acceptance of goods?
- (4) What are the rights of a holder of a dishonored check?

DISCUSSION

Summary

The transaction between Buyer and Seller is a contract for the sale of goods governed by Article 2 of the Uniform Commercial Code, as well as by common law doctrines (e.g., involving fraud and misrepresentation) that supplement the Code. Under both UCC principles and common law principles, Seller's untrue statements about the brakes and clutch provide a basis for Buyer to avoid the contract, recover the purchase price, and recover any other allowable damages for losses that he may have suffered as a result of the breach.

The false statements about the brakes and the clutch were misrepresentations under common law principles. They also constituted express warranties under the UCC, which Seller breached because the statements were untrue. Under common law rules, Seller's misrepresentations provide a basis for Buyer to avoid the contract because the misrepresentations were fraudulent and material, they induced Buyer to complete the car purchase, and Buyer was justified in relying on them. Similarly, under the UCC, Buyer was entitled to revoke his acceptance of the car because acceptance was induced by Seller's false assurances. If Buyer avoids or rescinds the contract under common law principles, or revokes his acceptance under UCC rules, Buyer is entitled to return of any payments made plus any damages for breach of contract.

Checkco, as the holder of the check, can recover the amount of the check from Buyer (as drawer) or Seller (as indorser). Checkco is a holder in due course, and Buyer will have to pay the amount of the check even though the car did not conform to the contract.

Point One (20%)

Seller's statements about the brakes and clutch constituted express warranties that became part of the contract under the Uniform Commercial Code. They were also misrepresentations that could provide Buyer with a basis to avoid the contract under common law principles.

This is a contract for the sale of goods and as such is governed by Article 2 of the UCC. In addition, basic principles relating to fraud and misrepresentation can be applied to supplement the rules in the Code. *See* UCC § 1-103.

Buyer and Seller clearly entered into a contract for the sale of the car. There was offer and acceptance, and the basic terms of the bargain were reflected in a writing.

Under the UCC, affirmations of fact relating to the goods that are part of the basis of the bargain create express warranties that the goods will conform to those affirmations and descriptions. UCC § 2-313(1). Seller's statements that the brakes and clutch had been replaced were clearly such affirmations of fact and, thus, constituted express warranties. The more general statements that the car was in "tip-top shape" and was "good for another 100,000 miles," however, may be "an affirmation merely of the value of the goods or a statement purporting to be merely the seller's opinion or commendation of the goods" and, therefore, may not constitute express warranties. UCC § 2-313(2).

[NOTE: Although the warranties are not included in the writing the parties signed, UCC § 2-202 (Article 2's parol evidence rule) allows that writing to be supplemented by "consistent additional terms" unless the court finds that the writing was intended to be a "complete and exclusive" statement of the terms. There are no facts in the problem to suggest that the parties intended their writing to be the exclusive statement of their terms, and the express warranties made by Seller were not inconsistent with anything in the writing.]

Under common law principles, a misrepresentation is any "assertion that is not in accord with the facts," Restatement (Second) of Contracts § 159, and a misrepresentation is "material" if it is likely to induce assent to the contract, *id.* § 162. Here, Seller's misrepresentations about the brakes and the clutch were clearly not in accord with the facts, and were also the sort of claims that would contribute directly and substantially to a buyer's decision to purchase the car. Furthermore, there is strong reason to believe that Seller's statements were fraudulent, as Seller very likely knew that the brakes and clutch had not been repaired within the last six months (although the facts are not completely clear on this point). Seller will be bound by his fraudulent or material misrepresentations. *See* RESTATEMENT (SECOND) OF CONTRACTS § 164 (buyer may void a contract if assent is induced by a fraudulent or material misrepresentation on which the buyer is justified in relying).

Point Two (20%)

Buyer accepted the car, but was entitled to revoke his acceptance under UCC rules because the car's nonconformity substantially impaired its value to him and because the car was accepted without discovery of the nonconformity and acceptance was induced by Seller's false assurances. Under the common law doctrine of misrepresentation, Buyer may avoid the contract because his assent to it was induced by Seller's misrepresentations.

Buyer took the car and drove it for a week. Since this time span was well beyond a reasonable period in which to inspect the car, Buyer's failure to reject the car means that he accepted it. UCC § 2-606. Having accepted the goods, Buyer can no longer reject them. UCC § 2-607(2). However, under proper circumstances, a buyer can revoke acceptance of goods. *See* UCC § 2-

608. In particular, a buyer may revoke acceptance if (i) the goods do not conform to the contract, (ii) the nonconformity “substantially impairs” the value of the goods to the buyer, and (iii) the buyer accepted the goods either on the reasonable assumption that a nonconformity would be cured or without discovery of a nonconformity if acceptance was induced by either difficulty of discovery before acceptance or the seller’s assurances; revocation must occur within a reasonable time after the buyer discovers or should have discovered the nonconformity and before any change in condition of the goods not caused by the nonconformity. *Id.*

In this case, all conditions for revocation are met. First, there is no doubt that the goods do not conform to the contract. The car was warranted to have new brakes and a new clutch. (*See* Point One.) Second, it is obvious that those nonconformities substantially impair the value of the car to Buyer. Third, Buyer accepted the car without discovery of the nonconformities, and this acceptance was induced by Seller’s false assurances. Moreover, Buyer communicated the revocation to Seller immediately upon learning of the grounds for it, and there was no change in the condition of the car that was unrelated to its nonconformity. Therefore, Buyer’s revocation is effective. *See* UCC § 2-608(2).

Under the common law doctrine of misrepresentation, a buyer can avoid (rescind) a contract if his assent was induced by fraudulent or material misrepresentations and he was justified in relying on those misrepresentations. RESTATEMENT (SECOND) OF CONTRACTS § 164. Those conditions are met here. Although the facts do not explicitly say so, Buyer asked specifically about the car’s condition and even contemplated taking it to a mechanic. Seller’s specific statements about the recent work done on the brakes and clutch (relatively expensive items to repair) probably were a significant factor in Buyer’s decision to assent to the contract without inspection. *See id.* § 167, cmt. a (“It is enough that the manifestation substantially contributed to his decision to make the contract.”) Buyer was justified in relying on Seller’s statements about the car’s condition, as Seller was in possession of the car, was offering it for sale, and represented that he knew its condition. Under these circumstances, Buyer can avoid the contract as a result of Seller’s misrepresentations.

Point Three (20%)

Because Buyer’s revocation of acceptance is effective, Buyer may cancel the contract, recover the purchase price that has been paid, and recover any damages. If Buyer chooses to rescind or avoid the contract under common law principles, Buyer is entitled to restitution of the purchase price that has been paid, and may also recover any damages.

A buyer who has justifiably revoked acceptance of goods is entitled to recover so much of the price as has been paid. *See* UCC § 2-711. Similarly, a buyer who rescinds a contract due to a seller’s misrepresentation is entitled to restitution of any portion of the purchase price that has been paid. RESTATEMENT (SECOND) OF CONTRACTS § 376. Thus, Buyer is no longer obligated to pay for the car and can recover the purchase price that has been paid (the \$4,000 in cash and the \$1,000 amount of the check).

Moreover, Buyer is also entitled to damages under UCC § 2-712 or § 2-713. Under UCC § 2-713, Buyer is entitled to the difference between the market price of a car conforming to the contract and the contract price, plus incidental and consequential damages. Because, according to the mechanic, the market price of a car conforming to the contract was equal to the contract price, Buyer is entitled only to any incidental and consequential damages under UCC § 2-713. Alternatively, under UCC § 2-712, Buyer may “cover” by buying a car in substitution for the car bought from Seller. Such a covering purchase must be a commercially reasonable substitute as

opposed to an upgrade to a better car. If Buyer makes a covering purchase, Buyer may recover the excess, if any, of the cover price over the contract price of \$5,000, plus incidental and consequential damages. UCC § 2-712(2). Pursuant to UCC § 2-721, these additional remedies are also available to a buyer who chooses to rescind the contract based on a claim of material misrepresentation or fraud.

Point Four(a) (20%)

Checkco, as a holder of the check, can assert a claim for the amount of the check against either Seller or Buyer.

The facts state that Buyer paid \$1,000 of the purchase price of the car with a check drawn on First Bank. A check is a negotiable instrument governed by Article 3 of the Uniform Commercial Code. UCC § 3-104. Buyer was the “drawer” of the check. *See* UCC § 3-103(a)(3). Seller was an “indorser.” *See* UCC § 3-204(b).

If a check is dishonored, the drawer (Buyer, in this case) has an obligation “to pay [it] . . . according to its terms at the time it was issued” to a “person entitled to enforce” it. UCC § 3-414(b). Similarly, if a check is dishonored, an indorser (Seller, in this case) has an obligation to pay the amount of the check to a person entitled to enforce it. *See* UCC § 3-415(a). The refusal of First Bank to pay the check when it was presented by Checkco constituted dishonor. UCC § 3-502(b)(2).

A “holder” of a check is a person entitled to enforce it. UCC § 3-301. When Seller indorsed the check in blank (i.e., by signing only his name), the check became payable to the bearer. UCC § 3-205(b). When Seller handed this “bearer instrument” to Checkco, Checkco became a holder of the check because it was in possession of an instrument that was payable to the bearer. UCC § 1-201(b)(21)(A). Thus, under UCC §§ 3-414 and 3-415, Buyer and Seller are liable to Checkco for the amount of the check.

[NOTE: Seller is liable on the check because Seller indorsed it. Some applicants might also note that Seller could be liable to Checkco for breach of a transfer warranty because, at the time Seller transferred the check to Checkco, Seller would have been aware that Buyer had a defense to payment of the instrument. UCC § 3-416(a). An examinee might be given credit for a correct analysis of this point, but the more direct route to Seller’s liability is that Seller has an indorser’s obligation to pay the holder of a dishonored instrument. UCC § 3-415(a).]

Point Four(b) (20%)

Checkco is a holder in due course and will not be subject to defenses that may be asserted by either Seller or Buyer.

Seller has no defenses to his obligation under UCC § 3-415, so Checkco may recover from Seller. Buyer, however, might claim that he has a defense to that obligation or a “claim in recoupment” arising from Seller’s breach of contract in the transaction that gave rise to the check. If Checkco qualifies as a holder in due course, Buyer will not be able to raise any claims in recoupment and will be able to raise only the four “real” defenses listed in UCC § 3-305(a)(1). None of those defenses (infancy, illegality of the transaction, fraud that induced the obligor to sign the instrument without knowledge of or reasonable opportunity to learn its terms, and discharge in insolvency proceedings) is present. Thus, if Checkco is a holder in due course, it will be able to recover from Buyer despite the fact that Seller breached the contract giving rise to the check.

A holder in due course is a holder of an instrument who takes an instrument that is not questionable on its face for value, in good faith, and without notice of, *inter alia*, any defenses to it. UCC § 3-302(a).

Each of these elements has been fulfilled. First, it has already been established that Checkco is a holder. Second, there are no facts to suggest that the check was questionable on its face. Third, Checkco took the check for value because it performed its promise of paying \$950 for it. *See* UCC § 3-303(a)(1). The fact that \$950 is less than the face amount of the check is irrelevant. Fourth, Checkco appears to have taken the check in good faith. “Good faith” is defined to include “honesty in fact and the observance of reasonable commercial standards of fair dealing.” UCC § 3-103(a)(4). Nothing in these facts suggests a lack of good faith on the part of Checkco. There is no evidence of dishonesty and no indication that its actions were outside the bounds of commercial standards of fair dealing. Finally, there are no facts to suggest that Checkco had notice of any defenses to the check.

Accordingly, Checkco is a holder in due course and may recover from Buyer notwithstanding the fact that Seller breached the contract giving rise to the check.

[NOTE: Of course, Checkco is entitled to only one recovery.]

DECEDENTS' ESTATES ANALYSIS

(Decedents' Estates I.B.; II.A., B., C., F.1. & I.12)

ANALYSIS

Legal Problems

- (1) Did Testator execute a valid will when he did not sign the only page containing bequests, but all three pages of the will were physically present at the time he signed the last page and Testator intended them to be his will?
- (2) Was Testator's handwritten codicil valid?
- (3) Did Testator revoke the bequest to Sister by striking out the clause in his will giving her \$20,000?
- (4) Does Testator's gift to "children" include adopted children and nonmarital children?
- (5) May a court reform Testator's will when Testator's likely intention conflicts with the will as drafted?

DISCUSSION

Summary

Under the doctrine of integration, all pages of a will that are together when the last page is signed and witnessed are deemed to have been validly executed. Thus, Testator's will is valid. Testator's handwritten codicil is invalid because it was neither signed by Testator nor witnessed. However, although crossing out a portion of a will (here, the bequest to Sister) would normally revoke that bequest under this state's law, because of the doctrine of dependent relative revocation, Testator's bequest to Sister was not revoked because it appears that Testator struck out this bequest on the mistaken assumption that the handwritten codicil was valid. In all states, a gift to children includes adopted and marital children. In most states, a gift to children would include a nonmarital child if clear and convincing evidence of paternity was available. Although Testator appears to have intended to benefit only some of his children, Abby and Bruce, the will gives the residuary estate to all of Testator's "children," and most courts do not allow the admission of extrinsic evidence to alter the plain meaning of a will. Thus, Sister would receive \$20,000 from Testator's estate and the balance would likely be distributed, in equal shares, to Abby, Bruce, Carl, and Don, if Don can establish Testator's paternity.

If the will was not validly executed Testator would have died intestate and his estate would be distributed only to his heirs. His heirs would be Abby, Bruce, and Carl in all states and, depending upon the state rules relating to proof of paternity, possibly Don.

Point One (25%)

Because all pages of Testator's will were present at the same time that Testator signed the last page of his will and the pages were intended by Testator to be his will, the will is valid.

Under the relevant state statute, a will, to be valid, must be signed by the testator and witnessed by two witnesses. Like all wills statutes, the statute applicable here does not require that the pages of the will be stapled or that the testator and witnesses sign each page.

Under the doctrine of integration, a multi-page will is valid even if only the last page is executed as long as the proponent of the will can establish that all pages were physically present and together when the testator and witnesses signed the last page of the will and that each page was intended by the testator to be part of his will. *See* THOMPSON ON WILLS § 124 (3d ed. 1947); 2 PAGE ON THE LAW OF WILLS §§ 19.10, 19.11 (2003). Here, all three pages of the will were present and together when Testator signed the will, and Testator intended the document to be his will. The proponent of the will may also rely upon a presumption that all pages of the will were present and together when the last page was signed if the pages, when read together, set out an orderly dispositional plan. *See* THOMPSON, *supra*, § 105; Comment, *Wills: Integration and Incorporation by Reference*, 4 BAYLOR L. REV. 211 (1952); Comment, *Wills—Integration*, 50 MICH. L. REV. 915 (1952). Here, page 1 of the will contained a bequest consistent with Testator's instructions to the attorney, and this page was followed by other pages containing matters commonly included in wills.

In sum, the will was executed properly and is valid.

Point Two (15%)

Testator's handwritten codicil to the will is invalid because state law requires all testamentary provisions to be signed by the testator and witnessed by two attesting witnesses.

Under state law, all testamentary provisions, to be valid, must be signed by the testator and witnessed by two attesting witnesses. Here, Testator attempted to change the bequest to Sister with a handwritten, unsigned, and unwitnessed writing. This provision is ineffective under state law.

Point Three (30%)

Notwithstanding the fact that Testator crossed out the bequest to Sister, the bequest is not revoked. Under the doctrine of dependent relative revocation, a revocation based on a mistaken assumption of law or fact (here, the validity of the handwritten bequest) is not given effect if it appears that the testator would not have revoked his will or some portion thereof had he known the truth.

Testator crossed out the bequest to Sister with the intention of substituting for it a larger bequest. This alternative bequest was invalid because it was neither witnessed nor signed by Testator. (*See* Point Two.)

Under the doctrine of dependent relative revocation, if a testator revokes a will or bequest based on a mistaken assumption of law or fact, the revocation is ineffective if it appears that the testator would not have revoked the bequest had he had accurate information. Here, Testator's cancellation of the bequest to Sister was motivated by a desire to give Sister *more* money. Had Testator known that the alternative larger bequest would be invalid, he would not have wanted to cancel the lesser bequest to Sister, leaving her with nothing at all. Thus, under the doctrine of

dependent relative revocation, the revocation of the bequest to Sister is ignored and she is entitled to the \$20,000. *See WILLIAM M. MCGOVERN & SHELDON F. KURTZ*, 242–43 (3d ed. 2004).

Point Four (25%)

The bequest to “my children” would include Testator’s two biological children born during marriage and his adopted stepchild. It is unclear whether it would include Testator’s nonmarital child.

State laws generally provide that the word “children” in a will should be interpreted consistently with the definition of the word “children” used in determining rights to intestate succession. *See, e.g.*, UNIF. PROBATE CODE § 2-705.

Biological children born to a married couple and adopted children are included within the category of children entitled to take through intestate succession. Thus, Abby, Bruce, and Carl are all included in Testator’s bequest to his “children.” *See MCGOVERN & KURTZ, supra*, at 100–04.

In all states, a nonmarital child (here, Don) is included within a bequest to children only if paternity is established under the relevant statute. In most states, paternity for purposes of intestate succession may be established by evidence of subsequent marriage of the parents, by acknowledgment by the father, by an adjudication of paternity during the life of the father, or by other clear and convincing evidence. *See JESSE DUKEMINIER & STANLEY M. JOHANSON, WILLS, TRUSTS, AND ESTATES* 115 (6th ed. 2000). It is unclear whether Testator’s paternity of Don was adjudicated or acknowledged during Testator’s lifetime; it is also unclear whether there is clear and convincing evidence of Testator’s paternity.

In sum, it is uncertain whether Testator’s nonmarital child, Don, will be included within the bequest to Testator’s “children.”

[NOTE: If evidence of Testator’s paternity is not currently available, Don might seek an order requiring decedent’s marital children to submit to blood testing in order to establish Testator’s paternity; some courts have granted such petitions. *See Sudwischer v. Estate of Hoffpauir*, 589 So. 2d 474 (La. 1991). In recent years, some courts have also permitted exhumation of a decedent’s remains for purposes of establishing paternity. *See Brancato v. Moriscato*, 2003 WL 1090596, 34 Conn. L. Rptr. 208 (Super. Ct. 2003). Other courts have refused to grant such requests. *See In re Estate of Bonanno*, 745 N.Y.S.2d 813 (Sur. Ct. 2002) (request for exhumation denied when postmortem DNA analysis of decedent’s blood samples established that petitioner was not decedent’s son).]

Point Five (5%)

Most jurisdictions disallow reformation of a will to correct a mistake. In those states, the bequest to “my children” would stand despite Testator’s apparent intention to benefit only his biological children, Abby and Bruce.

The fact that Testator identified only Abby and Bruce as his children when talking with his lawyer is unlikely to result in an interpretation of the will limiting the word “children” to Abby and Bruce. Although the “controlling consideration in determining the meaning of a donative document is the donor’s intention” (RESTATEMENT (THIRD) OF PROPERTY: WILLS AND OTHER DONATIVE TRANSFERS § 10.1 (2003)), a majority of jurisdictions bar the admission of extrinsic evidence to vary the literal meaning of the words used in a will and refuse to allow reformation

of a will to correct a mistake. "Hypothetical or imaginary mistakes of testators cannot be corrected. . . . The only means for ascertaining the intent of the testator are the words written and the acts done by him." *Sanderson v. Norcross*, 136 N.E. 170, 172 (Mass. 1922). Under this formalist approach, Testator's attorney could not testify that Testator intended to leave his estate to only Abby and Bruce, based on their conversations.

In recent years, a few states have begun to move away from the formalist approach and toward the more liberal approach adopted in the Restatement (Third) of Property. Under the Restatement, a court may reform even an unambiguous donative document based on clear and convincing evidence of (a) a mistake of fact or law or (b) the donor's intention. *See* RESTATEMENT (THIRD) OF PROPERTY: WILLS AND OTHER DONATIVE TRANSFERS § 12.1; *Estate of Herceg*, 747 N.Y.S.2d 901 (Sur. Ct. 2002) (reforming will based on drafting attorney's testimony that omission of particular beneficiary was due to computer error); UNIF. PROBATE CODE § 2-805 (2008 amendment). Using this approach, a court would admit the attorney's testimony to show that Testator's bequest to "children" was based on a mistake of law (the meaning of "children" for purposes of intestate succession) and that Testator intended to benefit only Abby and Bruce. However, it is unclear whether such testimony would meet a clear and convincing evidentiary standard given that Testator did not discuss his intentions toward Carl and Don with the attorney.

In sum, Abby and Bruce will certainly take a share of Testator's estate. It is highly probable, but not certain, that Carl will. It is uncertain whether Don will as well, depending on whether Testator's nonmarital children are included in the class gift to "children" under state law. *See* Point Four.

CONSTITUTIONAL LAW ANALYSIS

(Constitutional Law IV.F.1. & 2.a.)

ANALYSIS

Legal Problems

- (1) May a municipality prohibit leafleting in a public forum based on an anti-leafleting rationale?
- (2) May a public school deny use of classroom space to a student religious group when, by making that space available to other student groups, it has created a limited public forum?
- (3) May a speaker be convicted for trespassing on government property that is not a public forum when the government has an interest unrelated to speech in preventing the trespass?

DISCUSSION

Summary

For First Amendment purposes, there are three types of forums: the public forum, the limited public forum, and the nonpublic forum. A public street or sidewalk is a public forum. In a public forum, the state may not regulate speech based on its content, nor may it penalize speech based on an anti-leafleting rationale. Thus, Homestead may not fine Chapter under the anti-leafleting ordinance.

When a governmental entity deliberately opens government property to the public for meetings or other forms of speech, it creates a limited public forum subject to the same First Amendment requirements as a traditional public forum. Thus, because High School created a limited public forum, Principal may not deny Church Club the right to use that forum.

In a nonpublic forum, governmental actors may restrict speech as long as their actions are reasonable and content-neutral. Principal's office was a nonpublic forum because it was clearly off-limits to the public except by invitation, and Principal's actions were reasonable under the circumstances. Thus, Father has no First Amendment grounds to vacate his trespass conviction.

Point One (40%)

Homestead cannot enforce its anti-leafleting ordinance against Chapter because a municipality must allow speech in a traditional public forum even if doing so imposes costs on the municipality.

The First Amendment, as applied to the states and local governments through incorporation in the Fourteenth Amendment, applies to Homestead's enforcement of its anti-leafleting ordinance, which is a state action.

Although the United States Supreme Court once granted local governments broad powers to regulate speech in streets and parks, *see Davis v. Commonwealth of Massachusetts*, 167 U.S. 43 (1897), for the better part of a century, the Court has treated a public street or sidewalk as a First Amendment “public forum.” In a public forum, government may regulate speech only if certain conditions are met. If the regulation is not content-neutral, it must meet the requirements of strict scrutiny. If the regulation is content-neutral, it must meet the requirements of intermediate scrutiny; to pass muster under this standard, the regulation must impose only reasonable restrictions on the time, place, or manner of speech that are narrowly tailored to serve a significant governmental interest, and it must leave open ample alternative opportunities to engage in speech. *See Ward v. Rock against Racism*, 491 U.S. 781 (1989); ERWIN CHEMERINSKY, *CONSTITUTIONAL LAW: PRINCIPLES AND POLICIES* 1127 (3d ed. 2006).

Here, Homestead’s regulation of speech under its anti-leafletting ordinance is content-neutral; the ordinance forbids one means of communication, leafletting, without regard to the content of the speech. Thus, Homestead must show that its ordinance passes intermediate rather than strict scrutiny.

The Homestead ordinance is unlikely to pass muster under intermediate scrutiny because Homestead has not left open an alternative channel for the prohibited speech. Instead of regulating the time, place, and manner of leafletting, Homestead has banned it entirely. Particularly where a form of speech is inexpensive and available to all, a governmental entity may not prohibit it altogether. *See City of Ladue v. Gilleo*, 512 U.S. 43, 56 (1994).

The fact that the prohibited speech imposes costs upon the governmental entity does not alter this result. In the seminal case of *Schneider v. State of New Jersey, Town of Irvington*, 308 U.S. 147 (1939), the Supreme Court struck down an anti-leafletting ordinance much like the Homestead ordinance. In so doing, the Court held that

“the purpose to keep the streets clean and of good appearance is insufficient to justify an ordinance which prohibits a person rightfully on a public street from handing literature to one willing to receive it. Any burden imposed upon the city authorities in cleaning and caring for the streets as an indirect consequence of such distribution results from the constitutional protection of the freedom of speech and press.” *Id.* at 162.

Thus, Homestead may not fine Chapter for leafletting.

Point Two (35%)

A public school that makes classroom space available to student groups has created a limited public forum and may not discriminate as to use of that forum based on the content of speech. Thus High School cannot deny use of a classroom after school hours to Church Club.

A “limited public forum” (also known as a “designated public forum”) is created when a governmental entity could close a location to speech but instead opens it to speech. All the rules applicable to a traditional public forum apply to a limited public forum. Thus, under the First Amendment, as applied to the states and local governments through incorporation in the Fourteenth Amendment, the government may not discriminate among speakers based upon the content of their speech. *See CHEMERINSKY, supra*, at 1137.

There is no exception to the requirement of content neutrality when religious speech is at issue. The Supreme Court has repeatedly held that, in a public forum, religious speech stands on an equal footing with nonreligious speech, and content-neutral access rules do not violate the

Establishment Clause. Many of the cases have involved student or community groups that wanted to use, for religious speech, limited public forums created by public schools. *See, e.g., Widmar v. Vincent*, 454 U.S. 263 (1981); *Lamb's Chapel v. Center Moriches Union Free School Dist.*, 508 U.S. 384 (1993); *Good News Club v. Milford Central School*, 533 U.S. 98 (2001). In *Good News*, the case most like this one, the Supreme Court held that, when a school opens its classrooms for use by student groups, it creates a limited public forum and may not deny access to a student religious club that intends to use the classroom for prayer based on the religious content of that speech. The Court also held that a school that opens its facilities to religious speech under a content-neutral policy does not violate the Establishment Clause under the standard established in *Lemon v. Kurtzman*, 403 U.S. 642 (1971). *See Good News*, 533 U.S. at 103–04.

Thus, High School may not deny Church Club use of its classrooms for after-school meetings.

Point Three (25%)

The First Amendment does not shield Father from a trespass conviction. First, government can regulate conduct that is not imbued with communicative value. Second, even if the conduct has communicative value, the state can regulate such conduct in a nonpublic forum if the state's interest is important or substantial, and is unrelated to the suppression of expression, and if the regulation is no greater than necessary to serve the state's interest. Here, Principal's office was a nonpublic forum, Father's act of trespass was not communicative, and High School had an important and substantial interest in preventing trespassers from entering Principal's office.

Father was convicted for his physical entry into Principal's office, not for what he said while there. The act of marching into Principal's office—which is the act for which Father was convicted—is not conduct imbued with communicative value and does not implicate the First Amendment. Thus, Father's trespass conviction will likely survive a First Amendment challenge.

Even if Father's conduct is viewed as conduct imbued with communicative value because he entered Principal's office to express an opinion, the conviction would be upheld under *United States v. O'Brien*, 391 U.S. 367 (1968). The test in that case is whether a law that regulates speech-related conduct serves an interest within the government's regulatory powers that is important or substantial and that is both unrelated to the suppression of expression and no greater than necessary to serve the state's interest. Here, Principal's office was clearly not a public forum. The door was closed, a sign announced that there was “no admittance without an appointment,” and Principal was meeting with another parent at the time that Father marched in. High School clearly has a legitimate and important interest in prohibiting trespassers from entering Principal's office where private conversations about individual students or official school business may be taking place. High School's interest is not related to suppression of expression. Moreover, the means of protecting that interest (prohibiting admittance without appointment) are closely related to advancement of High School's interest.

REAL PROPERTY ANALYSIS

(Real Property I.A.1. & 3., B., B.4.)

ANALYSIS

Legal Problems

- (1) What interest did School acquire in Blackacre and what interest did Owner retain?
- (2) Did School breach the condition or limitation in the deed from Owner when it stopped using the building erected on Blackacre to teach students and began using it for administrative purposes?
- (3) If Owner retained a future interest in Blackacre, did the statute of limitations run on that interest?
- (4) What interests, if any, do Ann and Mary have in Blackacre?

DISCUSSION

Summary

Owner conveyed either a fee simple determinable or a fee simple on condition subsequent to School. Because the Owner-to-School deed used language that did not conform to the classic formulations for creating either of these interests, it is unclear which interest School acquired. However, in the case of an ambiguous conveyance, there is a presumption in favor of the fee simple on condition subsequent.

If School has a fee simple on condition subsequent, either (1) Owner retained nothing to pass to Daughter because the Owner-to-School deed did not expressly specify that Owner retained a power of termination, or (2) Owner retained an implied power of termination which passed to Daughter and then through Daughter's estate to Ann and possibly, upon Bill's death, to Mary as well.

If School has a fee simple determinable, then Owner's retained possibility of reverter passed through Daughter's estate at least to Ann and possibly to Mary.

Any cause of action for breach of the condition or limitation (depending on the interest created in the School) accrued only three years ago and, thus, the statute of limitations on that action has not run.

Of course, whether School's interest has been lost depends upon whether using Blackacre for administrative purposes violates the requirement of using the property to teach children aged 5 to 13, which it probably does.

Point One (45%)

The terms of the conveyance to School were ambiguous. In construing an ambiguous instrument, courts typically adopt a preference for the fee simple on condition subsequent. If so construed, it

is unclear what interest, if any, Owner retained. It is either no interest or a right of entry for condition broken (also called a “power of termination”). If, on the other hand, School acquired a fee simple determinable in Blackacre, then Owner retained a possibility of reverter.

If the Owner-to-School deed conveyed a fee simple determinable to School, then Owner retained a possibility of reverter, which became possessory immediately upon the happening of the event designated in the instrument. JOSEPH W. SINGER, *INTRODUCTION TO PROPERTY* 309 (2d ed. 2005). If, instead, the Owner-to-School deed conveyed a fee simple on condition subsequent, Owner may or may not have a power of termination or right of entry for condition broken, depending on whether the court would be willing to imply a forfeiture provision when none was expressly set forth in the deed. *See* RICHARD POWELL, *REAL PROPERTY* § 1:13.06[3] (Patrick J. Rohan ed., 1990); THOMPSON ON *REAL PROPERTY* § 17.01(d) (David A. Thomas ed., 1994).

Here, Owner conveyed Blackacre to School “if School uses Blackacre only to teach children aged 5 to 13.” The language of the deed does not conform to the paradigms for creating either a fee simple determinable or a fee simple on condition subsequent. To create a fee simple determinable, the typical formulation would be “to School, so long as it uses Blackacre only to teach children aged 5 to 13.” To create a fee simple on condition subsequent, the typical formulation would be “to School, but if School does not use Blackacre only to teach children 5 to 13, then the grantor may reenter and reclaim Blackacre.” *See* SHELDON F. KURTZ, *MOYNIHAN’S INTRODUCTION TO THE LAW OF REAL PROPERTY* 44–48 (4th ed. 2005).

In this case, the deed language is ambiguous. The word “if” in the deed expresses the language of condition and suggests an intent to create a fee simple on condition subsequent, but the deed’s lack of an express, retained power of termination suggests the intention to instead create a fee simple determinable. On the other hand, the deed’s failure to use the typical formulation for creating a fee simple determinable, coupled with the absence of any language suggesting that Owner intended to retain a possibility of reverter (e.g., “Blackacre shall revert”), suggests that Owner did not intend to convey a fee simple determinable, but instead a fee simple on condition subsequent.

Where the terms of a conveyance are ambiguous, courts construe the instrument to effectuate the grantor’s intentions. In construing an ambiguous instrument, courts typically adopt a preference for the fee simple on condition subsequent. *See id.* at 48; WILLIAM B. STOEBOCK & DALE A. WHITMAN, *THE LAW OF PROPERTY* 44 (3d ed. 2000).

Here, it doesn’t matter whether the court finds that the Owner-to-School deed created a fee simple determinable or fee simple on condition subsequent *if*, in the latter case, it also implies a forfeiture provision. Either construction would allow Owner to regain possession of Blackacre if School ceased using Blackacre only to teach children aged 5 to 13. The only practical difference that flows from these two constructions is that the fee simple on condition subsequent would require Owner (or his successors) to first make a demand, and the fee simple determinable would not because it becomes possessory immediately upon the happening of the limitation. In either case, the holder might have to sue the School to enforce her rights if Blackacre is not vacated voluntarily by School.

If, however, the court construes the deed as creating a fee simple on condition subsequent and does not imply a power of termination, then School has what amounts to a fee simple absolute because no one has the power of termination or right of entry for condition broken. In this case, School’s decision to discontinue use of Blackacre for teaching children aged 5 to 13 has no effect on School’s interest in Blackacre.

[NOTE: Applicants who conclude that School has a fee simple on condition subsequent may fail to realize that a right of entry must be expressly reserved in the deed and, thus, fail to discuss a court's reluctance to find a forfeiture.]

[NOTE: An applicant's conclusion on how the deed should be construed is much less important than demonstrating an understanding of the consequences that flow from the various constructions.]

Point Two (10%)

School has likely ceased using Blackacre "only to teach children aged 5 to 13." If Owner is treated as having either a possibility of reverter or a right of entry for condition broken (power of termination), then School's interest can come to an end and, subject to Point Four, Blackacre passes to the successors of Owner's estate. Otherwise, School continues to own Blackacre.

There is a factual question as to whether ceasing to only teach children aged 5 to 13 in the building on Blackacre and then using that building for administrative purposes is inconsistent with language in the deed from Owner to School. *See Mahrenholz v. County Bd. of School Trustees of Lawrence County*, 417 N.E.2d 138 (Ill. Ct. App. 1981). Here again applicants can make an argument either way, but the stronger argument appears to be that the terminating event occurred. No teaching appears to be going on in the building; rather, it is being used for administrative purposes, and that use seems to be beyond the intended purpose set forth in the Owner-School deed.

Point Three (10%)

If Owner's successors have an interest in Blackacre, the statute of limitations has not run on that interest.

Whether Owner conveyed to School a fee simple determinable or a fee simple on condition subsequent, the state statute of limitations applicable to actions for possession permits actions within "10 years after the cause of action accrues."

Because School ceased using Blackacre for the permitted purposes only three years ago, the period in which an action for possession may be brought has not yet expired.

Point Four (35%)

Ann has an interest in Blackacre if Owner retained either a possibility of reverter or a power of termination. In some jurisdictions, Mary (Bill's widow) would also have such an interest. If Owner retained only a power of termination, Ann will have to assert that right by exercising the power because possession will not automatically inure to her as it would have if Owner had retained a possibility of reverter.

If Owner retained a future interest in Blackacre, that interest passed to Daughter upon Owner's death because state law provides that such an interest is devisable. Upon Daughter's death, Daughter's devisable interest passed to Husband for life, with the remainder to "my surviving children."

Although Daughter was survived by two children, one of them, Bill, predeceased Husband. According to the Restatement of Property, which expresses what appears to be the current majority view, a survivorship contingency like that contained in Daughter's will applies at the termination of the interests that precede distribution of the remainder. *See* RESTATEMENT

OF PROPERTY § 251 (1940). In this case, that point is Husband's death. Thus, under the Restatement approach, Mary has no interest in Blackacre because Bill, having predeceased Husband, had no interest in Blackacre to devise to Mary. This approach is typically justified on the ground that a testator would want an interest in property to pass only to children who could take possession.

There is another view that interprets a survivorship contingency to require surviving only the testator (here, Daughter) and not the life tenant (here, Husband). This view is typically justified by a preference for early vesting of estates. If it applies, then Bill's interest passed to Mary. *See* 3 POWELL ON REAL PROPERTY ¶ 27.03[2] (Michael Allen Wolf ed., LexisNexis Matthew Bender 2008).

If Owner bequeathed a possibility of reverter in Blackacre, instead of a power of termination, then Ann (and Mary, in a state that follows the non-Restatement view) is entitled to immediate possession of Blackacre. If Owner retained and bequeathed only a power of termination, then Ann's (and, in a non-Restatement jurisdiction, Mary's) interest would not become possessory until and unless the power of termination was exercised.

FAMILY LAW ANALYSIS

(Family Law I.F.; III.D., E.)

ANALYSIS

Legal Problems

- (1) Under what circumstances is a premarital agreement enforceable?
- (2) What property is subject to division at divorce?
- (3) When is an alimony award appropriate?

DISCUSSION

Summary

Although state rules governing the enforceability of a premarital agreement vary considerably, a premarital agreement will generally be enforced unless the party against whom enforcement is sought can show involuntariness, inadequate disclosure by the other spouse, or unconscionability. Although Husband cannot show involuntariness or inadequate disclosure, it is possible that he can show unconscionability if this jurisdiction evaluates unconscionability at the time enforcement of the agreement is sought. If the agreement is unenforceable, in most states Husband's inherited real estate would not be divisible at divorce; the marital home titled in Wife's name would be, and Wife's pension would be partly marital and partly separate. In considering whether to award alimony, courts consider a variety of factors, including the parties' ages, length of the marriage, contributions by both parties, and the parties' physical and mental health. Here, it is unclear whether a court would award Husband alimony.

Point One (50%)

In determining whether a premarital agreement governing property distribution at divorce is enforceable, courts consider whether the agreement was voluntarily made, whether it is unconscionable, and whether disclosure of assets and obligations was made. The weight assigned to these factors varies from state to state. Here, Husband may have a basis for challenging the validity of the premarital agreement in a state that allows a court to strike down an agreement based on unconscionability at the time enforcement is sought.

Although courts were once hostile to premarital agreements, today all states permit spouses to contract premaritally with respect to rights and obligations in property. In all states, the enforceability of such agreements turns on three factors: voluntariness, unconscionability, and disclosure. How courts apply these factors varies significantly from one state to the next. In many states, an agreement is unenforceable if the party against whom enforcement is sought succeeds in showing *any one of* the three factors: involuntariness, unconscionability, or inadequate disclosure.

Under the Uniform Premarital Agreement Act (UPAA), which has been adopted in 27 jurisdictions, the party against whom enforcement is sought must prove (1) involuntariness *or* (2) that “the agreement was unconscionable when it was executed” *and* that he or she did not receive or waive “fair and reasonable” disclosure and “did not have, or reasonably could not have had, an adequate knowledge” of the other’s assets and obligations. UNIF. PREMARITAL AGREEMENT ACT § 6(a). Thus, under the UPAA, a court may not refuse to enforce a premarital agreement based on unconscionability unless the court also finds lack of adequate disclosure or knowledge.

Under the UPAA, Husband and Wife’s premarital agreement would be enforceable. The facts show that Husband and Wife both disclosed their assets, and there is no evidence that Husband signed the agreement involuntarily. Although lack of independent legal advice is a factor in determining whether a party entered into an agreement voluntarily, Husband had ample opportunity to obtain legal counsel and decided against it. Husband also had ample time to review the agreement before signing it, and, perhaps most importantly, he proposed the agreement. *See* ROBERT E. OLIPHANT & NANCY VER STEEGH, FAMILY LAW §§ 14.11, 14.13 (2d ed. 2007); *Hengel v. Hengel*, 365 N.W.2d 16 (Wis. Ct. App. 1985) (agreement upheld when wife received proposed agreement two weeks before wedding and had it reviewed by legal counsel).

In states that have not adopted the UPAA, courts employ a range of standards. In most of these states, a court may invalidate a premarital agreement on grounds of unconscionability even if both parties have fully disclosed their assets. In evaluating unconscionability, some states require courts to determine whether the agreement was unconscionable when signed; others require a determination of unconscionability at the time of divorce; yet other states permit courts to invalidate an agreement based on unconscionability at either point in time or to invalidate an agreement simply because it is unfair. And some states specifically disallow spousal support waivers or apply special standards to such waivers. *See* HARRY D. KRAUSE, ET AL., FAMILY LAW: CASES, COMMENTS AND QUESTIONS 208 (6th ed. 2007).

Here, the agreement initially benefited Husband by ensuring payment of his debts and protecting him against his own imprudent speculation; if unconscionability is analyzed at the time the agreement was signed, the court will likely find it enforceable. At the time of divorce, however, the agreement is arguably unconscionable in that it would grant Wife not only all marital assets, but also Husband’s inherited real estate, an asset that, in most states, would be Husband’s separate property. (*See* Point Two.) Moreover, Husband has suffered a serious injury and might succeed in establishing that he is incapable of self-support. Thus, in a state that permits invalidation of an agreement based on unconscionability at the time of divorce, a court could find that the premarital agreement between Husband and Wife is unconscionable and unenforceable. In a state that disallows spousal support waivers, this provision might also be struck down even if the property division provision were upheld.

[NOTE: A number of states that have adopted the UPAA have varied its enforcement provisions. For example, although the UPAA provides that “parties to a premarital agreement may contract with respect to . . . the modification or elimination of spousal support,” UPAA § 3(a)(4), some UPAA states have disallowed spousal support waivers (*see* S.D. CODIFIED LAWS § 25-2-18 (2009); *Sanford v. Sanford*, 694 N.W.2d 283 (S.D. 2005)) or allowed such waivers only in limited circumstances. *See* 750 ILL. COMP. STAT. ANN. § 10/7 (West 2010) (a spousal-support waiver is unenforceable if it causes the waiving spouse undue hardship in light of circumstances not reasonably foreseeable at the time of signing). Some states permit a court to invalidate a premarital agreement on grounds of unconscionability even when there has been full asset disclosure. *See, e.g.*, WIS. STAT. ANN. § 766.58(6) (2009).]

Point Two (30%)

Unless a valid premarital agreement specifies otherwise, in most states, property acquired during the marriage through spousal effort is divisible at divorce, but property acquired through gift, descent, or devise is not. Thus Husband could be awarded part of Wife's pension and a share in the marital home.

In all states, a divorce court may divide marital property without regard to title. In the majority of states, a divorce court may not divide separate property. In a minority of “hotchpot” jurisdictions, the court may divide all assets, whenever or however acquired; a few states permit the division of separate property in special circumstances, such as hardship. *See* KRAUSE, *supra*, at 752, 763–65 (6th ed. 2007).

An asset is marital if it was acquired during the marriage by any means other than gift, descent, or devise. An asset that is initially separate property may be transformed into marital property if marital funds or significant efforts by the owner-spouse enhance its value or build equity during the marriage. *See id.*

Here, if State A is a majority jurisdiction, Husband's real estate would be classified as separate property, the marital home as marital, and Wife's pension as partly marital and partly separate. The real estate was inherited, and there is no evidence that its value has been enhanced by Husband's efforts or marital funds. The marital home was purchased after marriage with Wife's employment income. The value of Wife's pension reflects both marital employment income and premarital employment income; a court would thus apportion its value. *See* J. THOMAS OLDHAM, *DIVORCE, SEPARATION AND THE DISTRIBUTION OF PROPERTY* § 7.10[5] (2006) (describing apportionment principles).

Thus, absent an enforceable premarital agreement, a divorce court could award Husband a share of Wife's pension and the marital home. In most states, it could not award Wife a share of Husband's real estate.

Point Three (20%)

Even if the premarital agreement is unenforceable, it is unclear whether Husband can obtain alimony. Husband's failure to contribute to the marriage weighs against his alimony claim, but, if Husband can establish that his injury precludes employment, that factor coupled with his age and the duration of the marriage may support an alimony award.

State A terms spousal support “alimony.”

Rules governing the award of alimony vary from one state to the next, but they almost invariably require the trial court to consider the parties' financial resources and needs, their marital contributions, and the marital duration. Some state statutes also require consideration of spousal misconduct. *See* Robert Kirkman Collins, *The Theory of Marital Residuals: Applying an Income Adjustment Calculus to the Enigma of Alimony*, 24 HARV. WOMEN'S L.J. 23, 46 (2001) (describing and categorizing factors in alimony determination); LYNN D. WARDLE & LAURENCE C. NOLAN, *FUNDAMENTAL PRINCIPLES OF FAMILY LAW* 718 (2d ed. 2006); AMERICAN LAW INSTITUTE, *PRINCIPLES OF THE LAW OF FAMILY DISSOLUTION: ANALYSIS AND RECOMMENDATIONS* §§ 5.02, 5.03 (2002). Although alimony statutes typically accord substantial discretion to the trial court, they are invariably gender neutral. *See Orr v. Orr*, 440 U.S. 268 (1979).

In evaluating need, a court typically considers the standard of living enjoyed by the parties during the marriage and whether the recipient spouse will be able to achieve that level of

economic self-sufficiency within a reasonable period of time following the divorce; health, the existence of separate assets, and the share of marital assets that the recipient spouse will receive may also be taken into account. *See OLIPHANT & VER STEEGH, supra*, §§ 11.14–11.18.

In evaluating a spouse's contributions to the marriage, a court may consider negative as well as positive actions, including a spouse's failure to make economic or noneconomic contributions and misuse or dissipation of marital funds. *Id.* § 11.13.

In this case, both Husband and Wife are minimally educated. The 15-year marriage was relatively lengthy. The marital standard of living has not been high, and throughout the marriage, Wife has made greatly disproportionate contributions. For most of the marriage, Husband's failure to contribute more was unexcused. Although Husband suffered a major injury five years ago, a court may be skeptical of his claim that he cannot work given Husband's employment history, his apparent lack of noneconomic contributions, and his failure to make use of the pilot's license he acquired with Wife's help. Wife does not earn a high salary that would permit her to pay alimony easily. Finally, because the question assumes that the agreement is invalid, Husband would, in most states, retain his inherited real estate, which would provide him with an asset that he could use to defray his expenses.

On the other hand, if Husband succeeds in establishing his disability, a court might find that his current need outweighs his lack of economic contributions, particularly given the length of the marriage, Husband's age, Wife's earning ability, and the fact that Wife will receive a share of marital assets.

Thus, on these facts, it is possible, but by no means certain, that Husband will obtain an alimony award if the premarital agreement is found to be invalid.

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure I.A.1., B.)

ANALYSIS

Legal Problems

- (1) May a federal district court exercise personal jurisdiction over a nonresident defendant that contracted outside the forum state to provide a loan to a plaintiff who lived in the forum state and that mailed loan paperwork to the plaintiff in the forum state, including the incorrectly mailed paperwork that gave rise to the plaintiff's lawsuit?
- (2) Does a federal district court have diversity jurisdiction when the plaintiff previously was domiciled in the defendant's state of citizenship and still returns there about once a month, but has moved to another state to work and may intend to stay there permanently?
- (3) Does a federal district court have federal-question jurisdiction over a lawsuit when the plaintiff's complaint refers to a potentially relevant federal statute but denies the applicability of the statute?

DISCUSSION

Summary

The State B district court may exercise specific personal jurisdiction over nonresident defendant Credit Union because Credit Union engaged in contacts with the forum state that demonstrated purposeful availment and that gave rise to Paul's claims. The exercise of personal jurisdiction would not be unfair.

Diversity of citizenship exists if Paul intends to remain in State B, which could be argued either way. Defendant Credit Union is a citizen of State A, where it is incorporated and has its principal place of business. Paul's complaint seeks sufficient monetary damages to satisfy the amount-in-controversy requirement.

The district court does not have federal-question jurisdiction in this case because Paul's complaint does not state a federal claim. It instead seeks to anticipate and rebut a potential federal defense. Under the well-pleaded complaint rule, federal-question jurisdiction is appropriate only when a federal claim is raised on the face of the complaint.

Point One (35%)

The United States District Court for the District of State B may exercise personal jurisdiction over Credit Union because Credit Union's contacts with the forum state gave rise to the suit and demonstrate purposeful availment and because the exercise of jurisdiction would not be unfair.

The United States District Court for the District of State B has personal jurisdiction over Credit Union. Federal district courts may exercise personal jurisdiction to the same extent as the courts

of general jurisdiction of the state in which the district court sits. *See* FED. R. CIV. P. 4(k)(1)(A). State courts of general jurisdiction may exercise personal jurisdiction over nonresident defendants to the extent authorized by both the state's long-arm statute and the due process clause of the 14th Amendment of the U.S. Constitution. In this case, State B's long-arm statute authorizes jurisdiction as far as the Constitution allows, so the long-arm analysis is the same as the constitutional analysis.

The due process clause of the 14th Amendment permits states to assert personal jurisdiction over nonresident defendants who have established minimum contacts with the state such that the exercise of personal jurisdiction would not offend traditional notions of fair play and substantial justice. *International Shoe v. Washington*, 326 U.S. 310 (1945).

In this case, Paul's suit arises out of or relates to Credit Union's contacts with State B. Paul's claim is based on a loan agreement which informed Credit Union that Paul was a resident of State B at the time of the agreement and that loan information should be mailed to Paul in State B. Credit Union in fact sends information about the loan to Paul in State B, and receives payments from Paul from State B. Moreover, the lawsuit arises out of one of Credit Union's mailings to State B, albeit a mailing to an incorrect address.

Although these contacts probably fall short of the continuous and substantial contacts required for general jurisdiction, *see Helicopteros Nacionales v. Hall*, 466 U.S. 408 (1984), they are probably sufficient for the court to exercise specific jurisdiction over claims against Credit Union that arise out of its contacts with State B.

A nonresident defendant is subject to specific jurisdiction when its contacts with the forum state demonstrate purposeful availment of the benefits of the forum state and/or render it foreseeable that the defendant may be haled into the forum state's courts. *See Hanson v. Denckla*, 357 U.S. 235 (1958). While Credit Union might argue that its contacts with State B result from Paul's unilateral act of moving to State B and therefore do not demonstrate purposeful availment, this argument will fail. Credit Union entered a long-term contract with Paul knowing that he lived in State B and would be performing his part of the contract (making loan payments) in State B. Credit Union mailed several payment statements addressed to Paul in State B. As a result, Credit Union purposefully availed itself of the benefits of State B and could foresee being haled into court in State B on matters related to the contract with Paul. *See Burger King Corp. v. Rudzewicz*, 471 U.S. 462, 475–76 (1985).

Even when a nonresident defendant has established the necessary minimum contacts with the forum state, the exercise of personal jurisdiction over the defendant may offend due process if inconsistent with traditional notions of fair play and substantial justice. The defendant must make a compelling case for fairness considerations to outweigh the existence of minimum contacts. *Id.* at 477. Credit Union will not succeed in making such a case, as the fairness considerations tend to support the exercise of personal jurisdiction by the courts of State B. Paul, who now lives in State B, has an interest in convenient and effective relief close to home. State B has an interest in providing its residents with a forum for redress of injuries caused by out-of-state defendants. And although litigation in State B will impose a burden on Credit Union, which maintains no branches in State B, that burden is minimized by modern transportation and communication. *See id.* at 483–84. As a result, the exercise of personal jurisdiction by the courts of State B will not offend notions of fairness.

Point Two (35%)

Credit Union is a citizen of State A. As a result, complete diversity will exist if Paul is a domiciliary of State B. However, it is uncertain whether Paul is a domiciliary of State B or is still

a domiciliary of State A. If Paul is a State B domiciliary, then there is diversity jurisdiction; Paul's claim satisfies the amount-in-controversy requirement.

28 U.S.C. § 1332 vests the district courts with jurisdiction over cases in which (a) there is complete diversity of citizenship, meaning no plaintiff shares the state of citizenship of any defendant, and (b) the amount in controversy exceeds \$75,000.

In determining citizenship, § 1332(c) directs that a corporation is a citizen where it is incorporated and where it has its principal place of business. *Hertz Corp. v. Friend*, ___ U.S. ___, 130 S.Ct. 1181, 1192 (2010) (“‘[P]rincipal place of business’ is best read as referring to the place where a corporation’s officers direct, control, and coordinate the corporation’s activities. . . the place where the corporation maintains its headquarters . . . i.e., the ‘nerve center’”). Credit Union is incorporated in State A. Moreover, its principal place of business (indeed, its only place of business) is in State A. Credit Union is a State A citizen for diversity purposes.

An individual U.S. citizen’s citizenship is determined by domicile, which is defined as the individual’s “true, fixed, and permanent home . . . to which he has the intention of returning whenever he is absent therefrom.” *Mas v. Perry*, 489 F.2d 1396, 1399 (5th Cir. 1974) (quotation omitted). Until recently, Paul’s domicile was clearly State A, where he had lived his entire life. Six months ago, however, Paul moved to State B, where he now resides most of the time, although he sometimes returns for short visits to his vacation home in State A.

The question is whether Paul has changed his domicile to State B. To change domicile, an individual must both take up residence in a new state and intend to remain there. *Id.* at 1400. While Paul has taken up residence in State B, it is unclear whether he intends to remain there. He originally planned to stay in State B for a year and then decide whether he would remain or return to State A. Consistent with that plan, he took a job as a temporary employee. Recently, however, Paul decided to obtain more permanent employment, as he has really enjoyed living in State B. This change to more permanent employment suggests that Paul now intends to remain in State B on a permanent basis, in which case his domicile has changed to State B. On the other hand, his purchase of a vacation home in State A may suggest that he does not, in fact, intend to change his State A domicile.

[NOTE: The issue can be fairly argued either way.]

If Paul is a citizen of State B, complete diversity exists. If Paul remains a citizen of State A, complete diversity does not exist, as Paul and Credit Union would both be citizens of State A.

To determine whether the amount in controversy exceeds \$75,000, courts rely on a plaintiff’s good-faith allegations unless it appears “to a legal certainty” that the plaintiff cannot recover the amount alleged. *St. Paul Mercury Indemnity Co. v. Red Cab Co.*, 303 U.S. 283, 289 (1938). Paul’s claim for \$240,000 clearly satisfies the amount-in-controversy requirement, and there are no facts to suggest that it was not made in good faith. Even if the state statute providing for treble damages is preempted by the federal identity-theft statute, Paul’s \$80,000 claim for actual loss still satisfies the amount-in-controversy requirement.

Point Three (30%)

Paul’s assertion of a defense to the possible applicability of a federal statute does not create federal-question jurisdiction.

28 U.S.C. § 1331 provides district courts with jurisdiction to hear suits arising under the laws of the United States. To determine whether such federal-question jurisdiction exists, a court looks at the allegations necessary for a well-pleaded complaint and asks whether the claims stated by

those allegations are created by federal or state law. Claims created by federal, but not state, law generally fall within the scope of a district court's federal-question jurisdiction.

Paul's breach-of-contract claim is created by state law and therefore lies outside the district court's original federal-question jurisdiction. Although Paul's complaint mentions a federal statute, it does not state any claim that is based on the federal law. Instead, in order to rebut an anticipated defense, Paul's complaint asserts that certain provisions of federal law are unconstitutional.

Pursuant to the well-pleaded complaint rule, there is no federal-question jurisdiction when federal law is mentioned in the complaint only to deny the applicability of that law. Federal-question jurisdiction exists "only when the plaintiff's statement of his own cause of action shows that it is based upon [federal] laws or [the] Constitution." *Louisville & Nashville Railroad v. Mottley*, 211 U.S. 149, 152 (1908). Here, Paul is asserting a cause of action based only on state law; the only federal issue in the case is whether Paul's cause of action is preempted. Federal-question jurisdiction does not exist under these circumstances.

CRIMINAL LAW ANALYSIS

(Criminal Law II.A.3; IV.B.1.)

ANALYSIS

Legal Problems

- (1) What are the elements of the crime of larceny by false pretenses?
- (2) Did Owner make a false representation of a material present or past fact that caused Customer to pass title to the property (the \$250) to Owner?
- (3) Did Owner act with the *mens rea* required to be found guilty of false pretenses?

DISCUSSION

Summary

To be guilty of larceny by false pretenses in most jurisdictions, Owner must have made a false representation of a material fact that caused Customer to pass title to property to Owner. Owner must have acted with knowledge of the falsity of the fact and with an intent to defraud.

While Owner did not believe that Star had the best refurbished computers in town, his claim to the contrary was a false representation of opinion, not fact, and could not support a conviction for larceny by false pretenses. However, Owner's statement that the computer technician installed a new hard drive in each refurbished computer was a false statement of a material fact because the technician did not install new hard drives. Owner obtained title to Customer's property when Customer paid Owner \$250 for the computer. The fact that Customer purchased the computer after being satisfied by Owner's claims suggests that Customer relied upon Owner's false representation of fact in passing title to property.

A court would likely find that Owner knowingly made the false representation about new hard drives because Owner believed that it was very likely that the computer technician used by Star did not install new hard drives, and Owner deliberately decided not to question the technician. Owner also had the requisite intent to defraud because Owner made the false claim about the new hard drives based upon the belief that it was one of the most important factors that would lead to a purchase by Customer.

Point One (25%)

To be guilty of larceny by false pretenses, a defendant must knowingly make a false representation of material fact to a person, with the intent to defraud, and the false representation must cause the victim to pass title to something of value to the defendant.

The crime of "larceny by false pretenses" or, as it is sometimes called, "obtaining property by false pretenses" or just "false pretenses," is a type of theft offense. In most jurisdictions, the *actus reus* elements of false pretenses are (i) a false representation of material fact (ii) that causes another person to transfer title to property (including money) to the defendant. The *mens rea*

required is knowledge that the representation of fact is false and an intent to defraud. *See generally* JOSHUA DRESSLER, UNDERSTANDING CRIMINAL LAW § 32.10 (5th ed. 2009). *See, e.g.*, MODEL PENAL CODE § 223.3 (theft by deception).

Here, Owner is charged with the crime of false pretenses on the theory that Owner stole Customer's money (the \$250 that Customer paid for the computer) by lying to Customer in order to induce Customer to give the money to Owner in exchange for the computer.

Point Two (35%)

The *actus reus* elements of the crime of false pretenses are met because Owner made a false representation of a material present or past fact that caused Customer to pass title to something of value (the \$250) to Owner.

As noted above, to be guilty of false pretenses in most jurisdictions, Owner must have made a false representation of a material present or past fact that caused Customer to pass title to property to Owner. *See State v. Agosta*, 787 A.2d 1252, 1254 (Vt. 2001). The false representation must be one of fact, not opinion. *See McMurphy v. State*, 455 So. 2d 924, 927 (Ala. Crim. App. 1984). Commercial puffery is not generally considered "false pretenses." *See* DRESSLER, *supra*, § 32.10[C][2][a]. While Owner did not believe that Star had the best refurbished computers in town, his claim to the contrary was a false representation of opinion, not of fact, and could not support a conviction for larceny by false pretenses. *See id.*

On the other hand, Owner's statement that the technician had installed a new hard drive in each refurbished computer was a false statement of a material fact. *See People v. Taurianen*, 300 N.W.2d 720, 725 (Mich. Ct. App. 1980) (per curiam) (misrepresentation of fact where defendants accepted payment for repair work that was not performed). Owner claimed that the technician had installed a new hard drive in every refurbished computer when no such installation had occurred.

Through this false representation, Owner succeeded in obtaining title to Customer's property when the purchase of the computer was completed and Customer gave Owner \$250. *See People v. Long*, 294 N.W.2d 197, 200 (Mich. 1980).

It does not matter that Customer may have had additional reasons for purchasing the computer—reasons that had nothing to do with Owner's false representation. It is enough that Owner's false representation contributed to Customer's parting with property. *See State v. Handke*, 340 P.2d 877, 883 (Kan. 1959). The fact that Customer purchased the computer after being satisfied by Owner's claims, including the claim that the computer technician installed a new hard drive in every refurbished computer, suggests that the false representation contributed to Customer's parting with \$250, thus establishing the causal link between Owner's false representation and the transfer of title to the property. *See id.*

Point Three (40%)

The *mens rea* element of the crime of false pretenses is likely met because Owner made the false representation knowingly and with the intent to defraud Customer.

To be guilty of false pretenses, Owner must have made the false representation knowingly and with the intent to defraud Customer. *See Trevino v. State*, 142 P.3d 214, 216 (Wyo. 2006). Most courts find that a defendant acts knowingly and has knowledge of a particular fact when, *inter alia*, the defendant is aware of a high probability of the fact's existence and deliberately avoids learning the truth. *See United States v. Guay*, 108 F.3d 545, 551 (4th Cir. 1997); MODEL PENAL

CODE § 2.02(7). A court would likely find that Owner knowingly made the false representation based upon both Owner's belief that it was very likely that the computer technician used by Star did not install new hard drives and Owner's deliberate decision not to question the technician. *See Guay*, 108 F.3d 545 at 551. The markedly low rates and fast service provided by the technician would provide additional evidence that Owner knew or should have known that the technician was not installing new hard drives. *See Commonwealth v. Franks*, 340 A.2d 456, 459–60 (Pa. Super. Ct. 1975) (Price, J., dissenting).

A few states, however, reject this “willful blindness” standard and require actual knowledge. *See Love v. Commonwealth*, 55 S.W.3d 816, 825 (Ky. 2001) (actual knowledge of each element of offense required, but such knowledge may be proved by circumstantial evidence). In these states, Owner would lack actual knowledge that the technician failed to install new hard drives and could not be found guilty of false pretenses. *See id.*

With respect to the second element, a defendant has the intent to defraud required to establish false pretenses when the defendant intends that the person to whom the false representation is made will rely upon it. *See Commonwealth v. Cheromcka*, 850 N.E.2d 1088, 1094 (Mass. App. Ct. 2006). Because Owner made the claim about the new hard drives based upon the belief that it would help persuade Customer to buy a computer, Owner also had the requisite intent to defraud.

CORPORATIONS ANALYSIS

(Corporations V.A.)

ANALYSIS

Legal Problems

- (1) Were the shares owned by Amy on the record date but then sold to Zach properly voted by Amy or Zach?
- (2) Were the shares subject to the proxy given to Dell by Brian properly voted by Dell, or by Brian, who attended the meeting?
- (3) Were the shares held by Carter properly voted by Carter?
- (4) Were the shares voted by X Corporation's president properly voted?
- (5) When the articles of incorporation of a corporation conflict with the bylaws of a corporation regarding how many shares must vote in favor of a shareholder proposal, which takes precedence?

DISCUSSION

Summary

Amy's shares were properly voted by Amy in favor of the proposal even though she no longer owned the shares when the meeting was held. Zach did not acquire ownership of those shares until after the record date, and Amy did not grant Zach a proxy to vote those shares at any time. Brian's shares were properly voted in favor of the proposal because his earlier proxy to Dell was revoked when Brian attended the meeting and voted his shares. Carter's shares were properly voted against the proposal because he properly attended the meeting and voted them. X Corporation's president was not permitted to vote the shares reacquired from Amy.

When the articles of incorporation of a corporation conflict with its bylaws regarding how many shares must be voted in favor of a shareholder proposal in order for that proposal to be approved, the articles of incorporation preempt the bylaws. Therefore, the proposal must receive a two-thirds vote of the outstanding shares entitled to vote on the matter to be approved. Here, the shareholder proposal received sufficient votes in favor and was approved.

Point One (25%)

Only shareholders of record on the record date are entitled to vote at an annual shareholders' meeting. Here, Amy was the owner of the 50 shares on the record date, and Zach is not entitled to vote them. Therefore, Amy's vote of 50 shares in favor of the shareholder proposal is counted, and Zach's vote of 50 shares against the proposal is not.

A record date determines who is entitled to vote at a particular shareholder meeting, “namely, those persons who were registered as shareholders ‘of record’ on that date.” ROBERT CHARLES CLARK, CORPORATE LAW § 9.1.2 (1986); *Brizzolara v. Sherwood Mem. Park, Inc.*, 645 S.E.2d 508, 518 (Va. 2007). Here, on the record date of December 30th, Amy was the owner of the 50 shares. Therefore, absent her proxy to another, Amy is entitled to vote the 50 shares. The fact that Zach bought the shares does not give Zach the right to vote the 50 shares because he did so after the record date.

[NOTE: If Amy had given Zach a legally binding proxy together with the shares, Zach might have had the right to vote them even though Zach was not the record owner on the record date. The facts do not suggest that any proxy was given, however, and therefore Amy’s vote of 50 shares in favor of the proposal should be counted, and Zach’s vote of 50 shares against the proposal should not be counted.]

Point Two (25%)

Generally, a shareholder proxy is revocable. Any action taken inconsistent with a proxy revokes that proxy. Here, Brian attended the meeting and voted, which was inconsistent with Brian’s prior grant of a proxy to Dell. Therefore, Brian effectively revoked the proxy, and his vote of 25 shares in favor of the shareholder proposal should be counted.

Brian gave Dell a proxy to vote Brian’s shares. Shareholder proxies generally are revocable, and any action inconsistent with the grant of a proxy works as a revocation of that proxy. *See* Anish Monga, *Using Derivatives to Manipulate the Market for Corporate Control*, 12 STAN. J.L. BUS. & FIN. 186, 213 (2006); Richard A. Epstein, *Why Restrain Alienation?*, 85 COLUM. L. REV. 970, 985 n. 32 (1985) (“Proxies must be revocable unless coupled with an interest.”); *see, e.g.*, N.Y. BUS. CORP. LAW § 609 (McKinney 1984). A proxy may be made irrevocable only if the proxy form explicitly so states and the proxy is “coupled with an interest.” *See* MODEL BUSINESS CORP. ACT (MBCA) § 7.22(d) (1984 with 2000 amendments) (“An appointment of a proxy is revocable unless the appointment form or electronic transmission states that it is irrevocable and the appointment is coupled with an interest.”).

Here, the proxy given by Brian to Dell did not state that it was irrevocable, nor was it coupled with an interest, and therefore it was revocable. Brian’s attendance at the shareholders’ meeting and his vote of the 25 shares were actions inconsistent with the grant of a proxy covering those shares to Dell. Therefore, Brian effectively revoked the proxy, and Brian’s vote of 25 shares in favor of the proposal should be counted while Dell’s vote of 25 shares against the proposal should not be counted.

Point Three (10%)

A shareholder of record may attend and vote at an annual shareholders’ meeting. Thus Carter’s vote of 25 shares will be counted against the proposal.

A shareholder of record is entitled to attend and vote at an annual shareholders’ meeting unless he or she has executed a valid, irrevocable proxy covering his shares. *See* MBCA § 7.22(a). Here, Carter attended the meeting and properly voted his 25 shares against the proposal.

Point Four (20%)

Shares that are repurchased by a corporation are not outstanding shares and therefore may not be

voted. Therefore, the vote of 50 shares by X Corporation's president against the proposal cannot be counted.

Shares that are reacquired by a corporation are considered authorized but not outstanding. MBCA § 6.31(a). Some jurisdictions refer to these as "treasury shares."

In counting shareholder votes, "each outstanding share . . . is entitled to one vote on each matter voted on at a shareholders' meeting." *Id.* § 7.21(a). The facts indicate that X Corporation's president voted 50 shares that the corporation reacquired from Amy. Because reacquired shares are not outstanding, they cannot be voted. Therefore the 50 shares voted by the president do not count.

Point Five (20%)

When the articles of incorporation conflict with a corporation's bylaws regarding how many shares must vote in favor of a shareholder proposal in order for that proposal to be approved, the articles of incorporation prevail over the bylaws. Here, the shareholder proposal received sufficient votes in favor and was approved.

When a corporation's articles of incorporation conflict with its bylaws regarding how many shares must vote in favor of a shareholder proposal in order for that proposal to be approved, the articles of incorporation preempt the bylaws. *See Boatmen's First Nat'l Bank of West Plains v. Southern Mo. Dist. Council of the Assemblies of God*, 806 S.W.2d 706, 713 (Mo. Ct. App. 1991) ("[A]ny bylaw provision that conflicts with the articles of incorporation is void."). Here, X Corporation's Articles of Incorporation requiring approval of two-thirds of the shares outstanding and entitled to vote on the matter to approve any shareholder action will preempt the bylaws' requirement of unanimity.

Here, Amy's 50 votes and Brian's 25 votes in favor of the proposal are counted, while only Carter's 25 votes against the proposal are counted. Therefore, the proposal received the necessary approval by two-thirds of the shares outstanding and entitled to vote on the matter and should pass.

2011
MEE Questions
and Analyses

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the February 2011 MEE. Each test includes nine questions; user jurisdictions may elect which of the nine questions they wish to use. In the actual test, the questions are simply numbered rather than being identified by area of law. The instructions for the test appear on page iii. For more information, see the *MEE Information Booklet*, available on the NCBE website at www.ncbex.org.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions. Examinees need not present their responses in the same way or cover all the points discussed in the model analyses to receive good grades.

The topics covered by each question are listed on the first page of its accompanying analysis, followed by roman numerals that refer to the MEE subject matter outline for that topic. For example, the Federal Civil Procedure question on the February 2011 MEE tested the following areas from the Federal Civil Procedure outline: I.A.1., jurisdiction and venue—subject matter jurisdiction—federal courts, and IV.A. & C., pretrial procedures—pleadings and motions & joinder of parties and claims (including class actions). Subject matter outlines are included in the *MEE Information Booklet*.

Description of the MEE

The MEE is a series of essay questions, any of which a jurisdiction may select to include as a part of its bar examination. It is administered by participating jurisdictions on the Tuesday before the last Wednesday in February and July of each year. Examinees are expected to spend approximately 30 minutes answering each MEE question administered. The areas of law that may be covered by the questions on any MEE are Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Conflict of Laws, Constitutional Law, Contracts, Criminal Law and Procedure, Evidence, Family Law, Federal Civil Procedure, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Uniform Commercial Code (Negotiable Instruments [Commercial Paper]; Secured Transactions). Some questions may include issues in more than one area of law.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test form contains the following instructions:

Do not break the seal on this booklet until you are told to begin.

Each question is designed to be answered in 30 minutes. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions to follow.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Your jurisdiction may instruct you to answer MEE questions according to the law of the jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

February 2011 MEE

► *QUESTIONS*

Trusts

Evidence

Secured Transactions

Torts

Family Law

Contracts

Corporations

Federal Civil Procedure

Decedents' Estates

TRUSTS QUESTION

In 1994, Testator died, survived by her sons, Ron and Sam, and Ron's son, Peter. Under Testator's duly probated will, Testator created a trust and provided that

Trustee shall distribute to Ron, for the duration of his life, as much of the income and principal from the trust as Trustee, in her uncontrolled discretion, deems advisable. At Ron's death, any remaining trust funds shall be distributed to my grandchildren, with the children of any deceased grandchild taking the deceased parent's share.

In another section of her will, Testator bequeathed property to her son Sam.

In 2006, Ron adopted Carol, who was then 14 years old.

On January 2, 2008, Ron borrowed \$50,000 from a friend and gave the friend a note for that amount payable in five annual installments of \$10,000 plus interest.

Between 1994 and 2009, Trustee distributed all the trust income (which averaged \$15,000 per year) to Ron.

In 2009, Peter, Ron's son, died in an automobile accident survived by his wife, Ginny, but by no descendants. Under Peter's valid will, his entire estate passed to Ginny.

On January 2, 2010, Ron failed to make the required payment to his friend on the \$50,000 note. Ron's friend then demanded that Trustee distribute that year's trust income to him instead of to Ron until the \$10,000 plus interest due that year was fully paid. At that point, Trustee stopped paying trust income to Ron and refused to make payments to Ron's friend. Instead, Trustee began to accumulate trust income.

In late 2010, Ron died. He was survived by his adopted daughter, Carol; his daughter-in-law, Ginny; his brother, Sam; and Sam's wife. Sam has no children, but he and his wife plan to have a child in the near future.

1. Was Ron's friend entitled to any of the trust income earned during 2010? Explain.
2. At Ron's death, to whom should the trust principal be distributed? Explain.

EVIDENCE QUESTION

On May 5, at 2 p.m. in City Park, Victim was hit from behind and temporarily knocked unconscious. Upon regaining consciousness moments later, Victim discovered that his bag containing valuables had been stolen.

While investigating the crime later that day, Police Officer interviewed Witness. Witness told Police Officer that she had seen the robbery of Victim and had recognized Defendant, a resident of the neighborhood, as the perpetrator. Witness also told Police Officer that Defendant had a reputation in the neighborhood for violence, that everyone was afraid of him, and that she shouldn't be talking to the police at all. Nevertheless, Witness agreed to accompany Police Officer to police headquarters, where she looked at photographs of suspects and signed a written statement. The statement read, "I was walking in City Park on May 5, at 2 p.m., when I saw Defendant. I saw Defendant attack Victim and then run away with Victim's bag. I know Defendant from the neighborhood and recognized Defendant as suspect number 1 on the 12-person photograph display shown to me today by Police Officer."

Defendant was subsequently arrested and charged with robbery and assault.

At Defendant's trial, Prosecutor called Witness to the stand. In response to questions from Prosecutor, Witness testified that she had no memory of the incident. She stated that she did not remember seeing anyone in City Park at the time of the alleged robbery. When Prosecutor asked Witness whether her sudden memory loss was because she was afraid of Defendant, Witness said that she had never seen Defendant before in her life and was not afraid of him because she did not know him. When Witness was asked whether she had told Police Officer that Defendant had robbed Victim, Witness denied ever making that statement.

Immediately after this testimony, Prosecutor offered Witness's signed statement into evidence to impeach Witness's credibility and to prove that Defendant was in City Park and attacked Victim. An authenticated copy of Witness's statement was provided to Defense Counsel. Defense Counsel raised no constitutional challenges to Witness's identification of Defendant at police headquarters. However, Defense Counsel objected to Prosecutor questioning Witness about the statement and to admission of the copy of the statement. The judge sustained both objections.

After the prosecution had rested, Defense Counsel called Buddy to the stand. Buddy testified that he had never met Defendant. He also testified that some of his friends had recently met Defendant a few times, and that they think that Defendant is an honest and gentle person who would never hurt anyone. Prosecutor objected to this testimony. The judge sustained the objection and excluded Buddy's testimony.

The rules of evidence in this jurisdiction are identical to the Federal Rules of Evidence.

1. Should the judge have permitted Prosecutor to question Witness about Witness's written statement and admitted the copy of the statement to impeach Witness's credibility? Explain.
2. Should the judge have admitted Witness's written statement to prove that Defendant was in City Park and attacked Victim? Explain.

Evidence Question

3. Should the judge have admitted Buddy's testimony to prove Defendant's character for honesty and gentleness? Explain.

SECURED TRANSACTIONS QUESTION

Astronomy Corporation (Astronomy) sells expensive telescopes to home stargazers. Astronomy has a long-term financing arrangement pursuant to which it borrows money from Bank. In a signed writing, Astronomy granted Bank a security interest in all its present and future inventory to secure its obligations to Bank under the financing arrangement. Bank filed a properly completed financing statement reflecting this transaction. The financing statement lists Astronomy as the debtor and Bank as the secured party. The financing statement indicates that the collateral is inventory.

Astronomy sells telescopes to some of its customers on credit. For a credit sale, Astronomy requires the customer to sign an agreement granting Astronomy a security interest in the purchased item to secure the customer's obligation to pay the balance of the purchase price.

Six months ago, Johnson, an amateur stargazer, went to Astronomy's showroom, saw a \$3,000 telescope that he liked, and bought it on credit from Astronomy. Johnson paid \$500 in cash and agreed to pay the \$2,500 balance in installment payments of \$100 per month for the next 25 months, interest free. Consistent with Astronomy's policy for credit sales, Johnson signed an agreement granting Astronomy a security interest in the telescope to secure Johnson's obligation to pay the balance of the purchase price. Astronomy did not file a financing statement with respect to this transaction. At the time of the sale of the telescope to Johnson, Johnson was unaware of the financial arrangement between Astronomy and Bank.

One month ago, Johnson sold the telescope for \$2,700 in cash to his neighbor, Smith, another amateur stargazer. Smith had no knowledge of any interest of Bank or Astronomy in the telescope. Johnson then left the country without paying the remaining \$2,000 owed to Astronomy and cannot be located.

One week ago, Astronomy defaulted on its obligations to Bank.

Both Bank and Astronomy have discovered that Johnson sold the telescope to Smith. Bank and Astronomy each have demanded that Smith surrender the telescope on the grounds that it is collateral for obligations owed to them.

1. Does Bank have a security interest in the telescope that is enforceable against Smith? Explain.
2. Does Astronomy have a security interest in the telescope that is enforceable against Smith? Explain.

TORTS QUESTION

After recent terrorist threats, Metro Opera (Metro) decided to place metal detectors in its lobby. Metro also marked off an area just beyond the metal detectors in which to search patrons who failed the metal-detector test. Metro posted a sign near the entrance that read: “Warning! No metal objects allowed inside. All entrants are screened and may be searched.”

Claimant and Friend saw the warning sign as they entered Metro. After entering, they observed several patrons being frisked. Claimant said to Friend, “I’m certainly not going to allow anyone to touch me!”

Claimant then walked through the metal detector, which buzzed. Without asking Claimant’s permission, Inspector, a Metro employee, approached Claimant from behind and began to frisk Claimant. Claimant leaped away from Inspector and snarled, “Leave me alone!” Guard, another Metro employee, then used a stun device, which administers a painful electric shock, to subdue Claimant.

Unfortunately, the stun device, manufactured by Alertco, malfunctioned and produced a shock considerably more severe than that described in Alertco’s product specifications. The shock caused minor physical injuries and triggered a severe depressive reaction that necessitated Claimant’s hospitalization. Claimant had a history of depression but was in good mental health at the time of the shock. Claimant was the first person who had ever experienced a depressive reaction to the Alertco device.

The Alertco device malfunctioned because it was incorrectly assembled at the factory and therefore did not meet Alertco’s specifications. Alertco’s assembly-inspection system exceeds industry standards, and it is widely recognized as the best in the industry. Nonetheless, it did not detect the assembly mistake in the device that injured Claimant.

Claimant has filed two tort actions seeking damages for her physical and psychological injuries: (1) Claimant sued Metro, claiming that both the frisk and the use of the stun device were actionable batteries, and (2) Claimant brought a strict products liability action against Alertco.

Metro has conceded that the actions of Inspector and Guard were within the scope of their employment. Metro had instructed its employees to ask permission before frisking patrons, but on the day Claimant was frisked, a supervisor told employees to frisk without asking permission in order to speed up the entrance process.

1. Can Claimant establish a prima facie case of battery against Metro for (a) the use of the stun device and (b) the frisk? Explain.
2. Does Metro have a viable defense to either battery claim? Explain.
3. Can Claimant establish the elements of a strict products liability claim against Alertco based on the malfunction of the device? Explain.
4. Assuming that Claimant establishes either Metro’s or Alertco’s liability, can Claimant recover for her depressive reaction to the stun device? Explain.

FAMILY LAW QUESTION

Husband and Wife married 12 years ago. Two years later, Wife gave birth to Child. Both Husband and Wife are employed, and each earns approximately \$80,000 per year.

Four months ago, Husband and Wife decided to divorce and entered into a written separation agreement drafted by their respective attorneys. Under this agreement, Wife obtained sole title to assets worth \$175,000 and Husband obtained sole title to assets worth \$125,000. All assets were acquired during the marriage with employment income; there were no other assets. The separation agreement provided that Wife would have sole custody of Child. It required Husband to pay to Wife \$500 per month in spousal support until her death or remarriage and \$400 per month in child support until Child reaches the age of 18.

At the time he signed the separation agreement, Husband was living with Fiancée, a woman with two teenage children. Indeed, his planned marriage to Fiancée was the primary reason for Husband's willingness to sign the separation agreement.

Three months ago, Child was injured in an automobile accident. As a result of blood tests performed following the accident, Husband discovered that he is not Child's biological parent.

Two months ago, at a hearing in the Husband-Wife divorce action, Husband petitioned the trial court to invalidate the separation agreement based on unconscionability and fraud. The trial court refused and entered a divorce decree incorporating the terms of the separation agreement.

After entry of the divorce judgment, Husband and Fiancée got married. Husband then filed a motion to modify the divorce decree to

- (a) grant him an equal share of the marital assets,
- (b) award Wife no more than \$200 per month in spousal support so that Husband could "meet the needs of [his] new family," and
- (c) eliminate his child-support obligation based on Husband's "nonpaternity of Child."

The trial court denied Husband's motion to modify the divorce decree.

1. Did the trial court err in denying Husband's petition to invalidate the separation agreement on the basis of unconscionability and fraud? Explain.
2. Did the trial court err in denying Husband's motion to modify the divorce decree according to each of the terms set forth in his motion? Explain.

CONTRACTS QUESTION

Designer and Retailer entered into a legally binding contract for Designer to maintain Retailer's website. Under the terms of the written contract, Retailer was to pay Designer \$20,000 per year. Retailer made timely payments for two years.

Eight months before the third year's payment was due, Designer learned of an investment opportunity. Designer called Retailer and said, "I need cash quickly to make an investment that will enable me to make a \$35,000 profit. I know that you owe me \$20,000, but if you promise now to pay me \$15,000 in cash by the 25th of this month, I will accept that payment as satisfying your obligation under our contract for this year."

Retailer responded, "Thanks. That's a good deal. I don't have the cash to pay you now. I'll do it if I can get a loan."

"That will be great," responded Designer.

Because Designer assumed that Retailer would provide the cash Designer needed, Designer did not try to raise the cash from another source.

Retailer, however, was busy with other matters. He visited two banks and picked up loan applications, but he never bothered to submit them. Retailer did not take any other action to obtain a loan before the 25th of the month had passed.

When the 25th of the month passed without payment from Retailer, Designer telephoned Retailer. The moment that Retailer heard Designer's voice saying "Hello," Retailer quickly said, "Sorry, but I can't take you up on your offer to accept early payment."

Designer was shocked and angered. He had counted on that money. He can prove that he would have gained \$35,000 had he been able to make the planned investment.

Designer has sued Retailer for actual damages plus punitive damages.

1. Is Retailer liable for breach of contract? Explain.
2. Assuming that Retailer is liable, can Designer recover his actual damages from Retailer? Explain.
3. Assuming that Retailer is liable, can Designer recover punitive damages? Explain.

CORPORATIONS QUESTION

On September 1, Adam, Baker, and Clark formed a shoe manufacturing business called Delta Incorporated (Delta). Each was to be a shareholder. Adam was named president of Delta.

Adam agreed to prepare and file articles of incorporation and bylaws for Delta, in accordance with the state's corporation statute, which is identical to the Model Business Corporation Act (1984, with 2000 amendments). Adam, Baker, and Clark agreed to include a provision in Delta's articles of incorporation stating that the corporation's existence would begin on September 1.

On October 1, Adam, acting on behalf of Delta, entered into a contract with Mega Stores Corporation (Mega) pursuant to which Mega was to purchase shoes from Delta for \$3,000. Following delivery of the shoes and after Mega had paid in full, Mega discovered that the shoes did not conform to the contract specifications and returned the shoes to Delta. It is undisputed that Delta owes Mega the \$3,000 purchase price.

On October 15, Baker learned that Delta's articles of incorporation had not been filed.

On November 1, Adam, acting on behalf of Delta, entered into a contract with Sole Source, Inc. (Sole), a supplier of shoe soles, pursuant to which Delta purchased shoe soles from Sole for \$100,000. The soles were delivered to Delta, and it is uncontested that Delta owes Sole the \$100,000 purchase price. Adam learned of the opportunity to contract with Sole from Baker, who had worked with Sole in the past. Baker helped Adam negotiate the contract with Sole.

On November 15, Adam filed Delta's articles of incorporation with the appropriate state official.

When Delta did not pay either Mega or Sole the amounts it owed them, each company sued Delta, Adam, Baker, and Clark for the amounts owed.

At all times, Clark believed that Delta's articles of incorporation had been filed.

1. When did Delta's corporate existence begin? Explain.
2. Is Adam, Baker, or Clark personally liable on the Mega contract? Explain as to each.
3. Is Adam, Baker, or Clark personally liable on the Sole contract? Explain as to each.

FEDERAL CIVIL PROCEDURE QUESTION

Plaintiff, a citizen of State B, was vacationing in State A, where he visited the O.K. Bar. While he was at the bar, Plaintiff was attacked and seriously beaten by Dave, a regular bar patron and a citizen of State A. Bartender, a citizen of State A, attempted to stop the attack and was also injured by Dave.

Plaintiff sued Dave and Bartender in the United States District Court for the District of State A, properly invoking the court's diversity jurisdiction. Plaintiff's complaint states a state law battery claim against Dave, seeking damages from Dave in excess of \$75,000. Plaintiff's complaint also states a claim against Bartender based on Bartender's alleged negligence in serving alcohol to Dave after Dave became visibly intoxicated and belligerent. Plaintiff's complaint seeks damages from Bartender in excess of \$75,000. Plaintiff's damages claims are reasonable in light of the injuries Plaintiff suffered in the attack.

Dave was personally served with the summons and complaint. However, the process server could not find Bartender. He therefore taped the summons and complaint to the front door of the O.K. Bar, where Bartender found them the next day.

Bartender made a timely motion to dismiss Plaintiff's complaint for failure to state a cause of action. When that motion was denied by the district court judge, Bartender filed a second motion to dismiss for insufficiency of service of process. The judge also denied that motion.

Bartender then filed an answer to the complaint, denying liability. The answer also stated a state law claim for battery against Dave, seeking \$20,000 damages for the injuries Bartender suffered when he tried to stop Dave's attack on Plaintiff.

Dave has moved to dismiss Bartender's cross-claim on the grounds of improper joinder and lack of subject-matter jurisdiction.

1. Did the United States District Court for the District of State A properly deny Bartender's motion to dismiss for insufficiency of service of process? Explain.
2. Do the Federal Rules of Civil Procedure permit Bartender to join a claim for battery against Dave in Bartender's answer to Plaintiff's complaint? Explain.
3. Assuming that the Federal Rules of Civil Procedure permit Bartender to join his state law claim against Dave, does the United States District Court for the District of State A have subject-matter jurisdiction over that claim? Explain.

DECEDENTS' ESTATES QUESTION

Two years ago, Testator purchased a \$50,000 life insurance policy and named Niece as beneficiary.

One year ago, Testator invited three friends to dinner. After dessert had been served, Testator brought a handwritten document to the table and stated, "This is my will. I would like each of you to witness it." Testator then signed and dated the document. The three friends watched Testator sign her name, and immediately thereafter, they signed their names below Testator's name.

One month ago, Testator died. Testator was survived by Niece, Cousin, and Son. Son is Testator's child from her first marriage. Testator's second husband, Husband, died six months before Testator. Husband's daughter from a prior marriage also survived Testator.

The handwritten document that Testator signed and that the three friends witnessed was found in Testator's desk. Its dispositive provisions provide in their entirety:

*I, Testator, hereby make my Last Will and Testament.
I give my life insurance proceeds to Cousin.
I give the items listed in a memorandum to be found in my safe-deposit box to Niece.
I give \$25,000 each to Church, Library, and School.
I give \$40,000 to Husband.
I give the remainder of my assets to Son.*

At Testator's death, she owned the following assets:

1. The \$50,000 life insurance policy, payable on Testator's death "to Niece"
2. Jewelry worth \$15,000
3. A bank account with a balance of \$60,000

The jewelry was found in Testator's safe-deposit box with a handwritten memorandum signed and dated by Testator the day before she signed her will. The memorandum lists each piece of jewelry and states, "I want Niece to have all the jewelry here."

The terms of Testator's life insurance contract provide that the beneficiary may be changed only by submitting the change on the insurer's change-of-beneficiary form to the insurance company.

State law explicitly disallows "all holographic wills and codicils." To be valid, a will must be "acknowledged by the testator to the witnesses and signed by the testator in the presence of at least two attesting witnesses, who shall sign their names below that of the testator within 30 days."

1. Is Testator's will valid? Explain.
2. Assuming that Testator's will is valid, who is entitled to
 - (a) Testator's life insurance policy? Explain.
 - (b) Testator's jewelry? Explain.
 - (c) Testator's bank account? Explain.

February 2011 MEE

► *ANALYSES*

Trusts

Evidence

Secured Transactions

Torts

Family Law

Contracts

Corporations

Federal Civil Procedure

Decedents' Estates

TRUSTS ANALYSIS

(Trusts I.D., E.1; II.A., B. & E.)

ANALYSIS

Legal Problems

- (1) Does a creditor of a beneficiary of a discretionary trust have the right to compel the trustee to make payments to the creditor?
- (2) When an income beneficiary of a testamentary trust adopts a child after the testator's death, does the adopted child qualify as a "grandchild" for purposes of sharing in a trust remainder?
- (3) In a class gift to grandchildren following the death of a life tenant, does the class close upon the life tenant's death when there is a grandchild eligible to take, even though more grandchildren could be born after that date?
- (4) When a trust instrument creates a remainder in "grandchildren, with the children of any deceased grandchild taking the deceased parent's share," does any interest vest in the estate of a grandchild who dies without issue before the remainder becomes possessory?

DISCUSSION

Summary

A creditor of the beneficiary of a discretionary trust may not compel the trustee to make payments to the creditor when the beneficiary cannot compel the trustee to make payments. Thus, Ron's friend had no claim against Trustee.

Adoption statutes generally treat adopted children equally with biological children for purposes of inheritance and taking as class gift members under a will. Thus Carol, Ron's adopted daughter, will be entitled to share in the remainder interest in the trust even though she was not adopted until after Testator's death, because the class of grandchildren was still open at that time.

When a trust instrument creates a future interest in grandchildren, the class of grandchildren closes when a grandchild becomes entitled to take, even if that means excluding other potential (but yet unborn) grandchildren. Here, grandchildren became entitled to take at the death of Testator's son Ron, and the class closed at that time, thus excluding any future-born grandchildren.

When a trust creates a future interest in grandchildren, with the children of any deceased grandchild taking the deceased parent's share, the estate of a grandchild who dies without issue before the time for distribution succeeds to the grandchild's interest unless the jurisdiction has adopted a statute akin to Uniform Probate Code § 2-707, which creates a presumption that future interests under the terms of a trust are contingent on survivorship until the distribution date.

Trusts Analysis

[NOTE: There is no perpetuity issue in this question because Testator had a living grandchild when she died (Peter) and thus the remainder interest is guaranteed to vest no later than the death of Ron, who is a life in being.]

Point One (30%)

Because the trust instrument conferred discretion on Trustee, Trustee was not obligated to make payments to Ron or to Ron's creditor.

The language of the trust instrument conferred uncontrolled discretion on Trustee to make payments to, or withhold payments from, Ron. When, as here, a trustee's discretion is uncontrolled, there is no abuse of discretion if the trustee acts "honestly and in a state of mind contemplated by" the trust creator. RESTATEMENT (THIRD) OF TRUSTS § 50, cmt. c (2003). As a result, Ron would be able to compel payments only if Ron could demonstrate that Trustee had acted dishonestly or in a state of mind not contemplated by the trust's creator. There are no facts here to support such a finding. *See id.*; SCOTT ON TRUSTS § 128.3 (4th ed. 2001).

Because Ron's creditor could have no greater rights in the trust than Ron had, the creditor, Ron's friend, could not compel Trustee to make payments to him. *See* RESTATEMENT (THIRD) OF TRUSTS § 56 (2003); SCOTT ON TRUSTS § 155 (4th ed. 2001) (If the beneficiary himself cannot compel the trustee to pay over any part of the trust fund, his creditors are in no better position.). Moreover, even in the unlikely event that the friend could establish that Trustee's failure to make payments constituted an abuse of discretion, some modern authorities hold that a creditor cannot assert the beneficiary's right to complain of abuse of discretion. *See, e.g.,* UNIF. TRUST CODE § 504(b)(2) (providing that a creditor may not compel the trustee of a discretionary trust to make a distribution, even when failure to make the distribution would constitute an abuse of discretion).

[NOTE: This problem does not involve the law relating to the ability of creditors to come after a beneficiary's interest when the instrument includes a spendthrift clause, as no such clause appears in the instrument here.]

[NOTE: The following MEE jurisdictions have adopted the Uniform Trust Code: Alabama, Arizona, Arkansas, District of Columbia, Maine, Missouri, Nebraska, New Hampshire, New Mexico, North Dakota, Oregon, and Utah.]

Point Two (25%)

Carol, the adopted daughter of Ron, is entitled to a share of the remainder allocated to "grandchildren."

Section 2-705(a) of the Uniform Probate Code provides that "[a]dopted individuals . . . are included in class gifts . . . in accordance with the rules for intestate succession." Section 2-114(b) of the Uniform Probate Code, which deals with intestate succession, provides that "an adopted individual is the child of his [or her] adopting parent or parents . . ." Thus, for purposes of the trust, Carol is treated equally with a child born to Ron after Testator's death. *See also* RESTATEMENT (THIRD) OF PROPERTY (WILLS AND OTHER DONATIVE TRANSFERS) (Tentative Draft No. 4 (2004) § 14.5(2)(i) ("In construing a class gift created by someone other than the adoptive parent, the adopted child is treated as a child of the adoptive parent, but only if (i) the adoption took place before the child reached the age of majority.")).

Because it is clear that Carol should be treated as though she were Ron's biological child, the question is whether she qualifies to take the remainder even though she was not yet adopted at Testator's death. The answer is yes. The class of grandchildren closes when one person

becomes entitled to possession of the remainder interest. *Id.* § 15.1. Because no person became entitled to a share of the trust principal/remainder interest until Ron's death, Carol is entitled to share because she was adopted before that time.

Point Three (20%)

Because at least one grandchild was entitled to take at the time of Ron's death, the class of grandchildren closed at that time, requiring distribution of the remainder at that time and excluding future grandchildren from sharing in the remainder.

A class gift closes to future entrants when at least one class member is entitled to distribution. RESTATEMENT (THIRD) OF PROPERTY (WILLS AND OTHER DONATIVE TRANSFERS) Tentative Draft No. 4 § 15.1 (2004). In this case, because grandchildren were entitled to take at Ron's death, the class closed, and any children subsequently born to Sam were excluded from sharing in the remainder.

Point Four (25%)

Ginny, the beneficiary of Peter's will, is entitled to share in the remainder to grandchildren unless the jurisdiction has adopted a statute akin to Uniform Probate Code § 2-707.

When a trust creates a vested remainder in a person or member of a class and then provides that the remainder should pass to that person's child if the remainder person predeceases the life tenant, the remainder is divested only if the deceased remainder person has a child. If, on the other hand, the remainder person dies childless, the remainder is not divested and passes to the remainder person's estate. *See, e.g., Swanson v. Swanson*, 514 S.E.2d 822 (Ga. 1999); *Matter of Krooss*, 99 N.E.2d 222 (N.Y. 1951). Here, Peter's remainder would have been divested in favor of his child if he had been survived by a child, but because he was not survived by a child, the remainder vested in his estate. And, because Peter left his entire estate to his wife, Ginny, she succeeds to Peter's interest in the remainder.

The result would be different if the jurisdiction has adopted § 2-707 of the Uniform Probate Code or a similar statute. Section 2-707(b), a controversial provision, makes future interests under the terms of a trust contingent on the beneficiary's surviving to the distribution date. Under UPC § 2-707(b), then, Peter's remainder was contingent on surviving Ron. Because Peter did not survive Ron, his interest did not vest. As a result, he had no interest to pass to Ginny.

Hence, at common law, Carol and Ginny would share the remainder equally; if UPC § 2-707 or a similar statute is in force, only Carol would succeed to the entire remainder.

[NOTE: The following MEE jurisdictions have enacted § 2-707 of the Uniform Probate Code: Massachusetts, Michigan, Montana, North Dakota, Utah, and Iowa (modified).]

EVIDENCE ANALYSIS

(Evidence I.D.1.; II.C.; V.A.)

ANALYSIS

Legal Problems

- (1) May a witness who testifies to a lack of memory at trial be impeached with a prior inconsistent statement, and may extrinsic evidence of the prior inconsistent statement be admitted?
- (2) May a prior statement of identification be admitted?
- (3) May a prior inconsistent statement made to the police be admitted to prove the elements of the charged offenses?
- (4) May a defense witness's testimony about what his friends think of a criminal defendant whom they met recently just a few times be admitted to prove that the defendant is honest and gentle?

DISCUSSION

Summary

Witness's statement to Police Officer contradicted her testimony at trial. This is a "prior inconsistent statement" that can be used at trial to impeach her credibility. Because Witness's testimony that she did not remember the incident and did not recognize Defendant was inconsistent with her written statement, because her lack of memory was likely feigned, and because she was given an opportunity to explain the statement, the court should have permitted Prosecutor to question Witness about her prior inconsistent statement and admitted the authenticated copy of Witness's statement to impeach Witness.

Part of Witness's statement—"I was walking in City Park on May 5, at 2 p.m., when I saw Defendant. I know Defendant from the neighborhood and recognized Defendant as suspect number 1 on the 12-person photograph display shown to me today by Police Officer"—should have been admitted as a statement of identification, which is not hearsay as defined in the Federal Rules of Evidence. FED. R. EVID. 801(d)(1)(C). The remainder of Witness's statement—"I saw Defendant attack Victim and then run away with Victim's bag"—was properly excluded because, although inconsistent, the statement was not made "under oath subject to the penalty of perjury at a trial, hearing, or other proceeding, or in a deposition." FED. R. EVID. 801(d)(1)(A).

Buddy's testimony was properly excluded because even relevant character evidence must be introduced in the form of proper opinion or reputation evidence. Buddy did not testify to his own opinion, and Buddy's knowledge of his friends' opinions did not provide evidence of Defendant's reputation.

Point One (25%)

A prior inconsistent statement is ordinarily admissible for the purpose of impeaching the credibility of a witness. Extrinsic evidence of the prior statement, such as the written statement itself, may be admitted when the witness has been given an opportunity to explain or deny the statement.

It is generally permissible for a litigant to impeach the credibility of any witness, including a witness called by that litigant. FED. R. EVID. 607. Moreover, it is common and proper to impeach a witness's credibility "by showing that the witness has made prior statements inconsistent with his [or her] testimony at trial." GRAHAM C. LILLY, AN INTRODUCTION TO THE LAW OF EVIDENCE § 8.5, at 414 (3d ed. 1996).

In order to introduce a prior out-of-court statement to impeach a witness's credibility, there must be an inconsistency between the prior out-of-court statement and the witness's trial testimony. The inconsistency must involve a relevant issue. If a witness testifies to a lack of memory regarding a relevant issue contained in a prior out-of-court statement, the judge may find that this testimony is inconsistent with the out-of-court statement on the same issue. Moreover, if the judge finds that the lack of memory is feigned, the court is more likely to find that the testimony and statement are inconsistent. *See* MICHAEL H. GRAHAM, HANDBOOK ON FEDERAL EVIDENCE § 613.2 (5th ed. 2001). Here, there is more than a claimed lack of present memory concerning the facts. Witness testified that she had never seen Defendant in her life and denied that she had told Police Officer that she saw Defendant rob Victim. Thus, her trial testimony is inconsistent with her previous written statement. Her testimony is also strongly suggestive of feigned memory loss.

Thus, the court should have allowed Prosecutor to question Witness about the entire statement. The written statement may also be admitted as extrinsic evidence. Witness should also have been given an opportunity to explain or deny all or part of the written statement, and the statement should have been admitted to impeach Witness's credibility by proving that she made prior inconsistent statements. Admission of Witness's statement for the limited purpose of impeaching her trial testimony does not raise hearsay concerns because it is not admitted to prove the truth of the matter asserted in the statement.

[NOTE: At Defense Counsel's request, the judge should instruct the jury that the prosecution cannot rely on Witness's prior written statement, which was admitted solely to impeach Witness's credibility, to prove any of the elements of the charged offenses.]

Point Two (25%)

Part of Witness's statement—"I was walking in City Park on May 5, at 2 p.m., when I saw Defendant. I know Defendant from the neighborhood and recognized Defendant as suspect number 1 on the 12-person photograph display shown to me today by Police Officer"—should have been admitted as a statement of identification, which is not hearsay.

A prior statement of identification of a person made after perceiving the person is not hearsay if the witness who made the statement testifies at trial and is subject to cross-examination concerning the statement. FED. R. EVID. 801(d)(1)(C). The rationale for this rule is that the opportunity to cross-examine the witness concerning the statement takes it outside the scope of the hearsay rule. FED. R. EVID. 801(d)(1). For the statement to be admissible to prove the truth of the matter asserted under this provision, it is not necessary that the speaker be able to confirm the identification at trial or remember the identity of the person. If the declarant testifies and is

Evidence Analysis

subject to cross-examination concerning the identification, the declarant's lack of memory at trial does not defeat admissibility and the requirements of Rule 801(d)(1)(C) are fulfilled. *United States v. Owens*, 484 U.S. 554 (1988).

In this case, Witness's prior written statement included an identification of Defendant. That identification was made by Witness based on Witness's knowledge of Defendant from the neighborhood, Witness's direct observation of Defendant in City Park on May 5 at 2 p.m., and Witness's recognition of Defendant's photograph. That prior statement of identification of Defendant is excluded from the general definition of hearsay when, as here, Witness testifies and is subject to cross-examination concerning the statement.

Point Three (20%)

The remainder of Witness's prior inconsistent statement made to the police—"I saw Defendant attack Victim and then run away with Victim's bag"—may not be admitted to prove the elements of the charged offenses because it is hearsay.

Under the Federal Rules of Evidence, certain prior inconsistent statements are not hearsay. FED. R. EVID. 801(d)(1)(A). However, to be admissible to prove the truth of the matter asserted, the prior inconsistent statement must be made "under oath, subject to the penalty of perjury at a trial, hearing, or other proceeding, or in a deposition." *Id.* Witness's statement to the police does not fit within this rule, nor does it fit within any hearsay exception.

Point Four (30%)

A criminal defendant may introduce evidence of his good character relating to a relevant character trait. Character may be proved only through testimony of reputation or opinion.

Character evidence is generally inadmissible to prove that a person acted in conformity with a particular character trait. However, a defendant in a criminal case is permitted to offer evidence of a relevant character trait to prove that the defendant did not commit the charged offense. FED. R. EVID. 404(a)(1). Because Defendant is charged with robbery and assault (both crimes of violence), evidence that Defendant is a "gentle person who would never hurt anyone" would be relevant. FED. R. EVID. 401. Evidence that Defendant is "honest" is a closer call. Committing a robbery or an assault is not inconsistent with having a reputation for truth-telling, if being "honest" means being a truth-teller. *See United States v. Darland*, 626 F.2d 1235 (5th Cir. 1980). On the other hand, robbery is a form of theft, and theft is dishonest. So a court might admit evidence of Defendant's honesty, as well as evidence of his gentleness.

However, the Federal Rules of Evidence limit the ways in which a defendant's character traits may be proven. *See* FED. R. EVID. 405(a). In particular, "proof may [only] be made by testimony as to reputation or by testimony in the form of an opinion." *Id.* *See also Michelson v. United States*, 335 U.S. 469 (1948).

Here, Buddy did not testify as to his own opinion or Defendant's community reputation. Rather, he said that a few of his friends think that Defendant is honest and gentle. Buddy's testimony about his friends' opinions of Defendant does not qualify as evidence of Defendant's "reputation in the community." "Community" includes circles of associates where one lives, works, or regularly socializes. *United States v. Oliver*, 492 F.2d 943 (8th Cir. 1974); *United States v. Parker*, 447 F.2d 826, 830–31 (7th Cir. 1971). Buddy's friends' opinions do not qualify as reputation testimony because the friends met Defendant recently and only a few times.

SECURED TRANSACTIONS ANALYSIS

(Secured Transactions I.B.; II.D. & E.; III.B.; IV.B. & C.)

ANALYSIS

Legal Problems

- (1)(a) Did Bank have a security interest in the telescope before it was sold by Astronomy? Was the security interest perfected?
- (1)(b) Did Bank's security interest in the telescope continue after the successive sales of the telescope to Johnson and Smith?
- (2)(a) Did Astronomy have a security interest in the telescope before Johnson sold it to Smith? Was the security interest perfected?
- (2)(b) Did Astronomy's security interest in the telescope continue to be enforceable after Johnson sold the telescope to Smith?

DISCUSSION

Summary

Bank had a perfected security interest in Astronomy's inventory. When one item of that inventory—the telescope—was sold to Johnson, Johnson took the telescope free of Bank's security interest in it because Johnson was a "buyer in ordinary course of business." Because Johnson owned the telescope free of Bank's security interest, Johnson transferred it to Smith free of that security interest. Astronomy retained a security interest in the telescope when Johnson bought it from Astronomy. The security interest was perfected even though Astronomy did not file a financing statement because the security interest was a purchase-money security interest in consumer goods. When Smith later bought the telescope from Johnson, he took free of Astronomy's security interest because of the protection afforded to buyers in consumer-to-consumer transactions by Article 9 of the Uniform Commercial Code.

Point One(a) (20%)

Bank had a perfected security interest in the telescope before it was sold.

Because Astronomy held the telescope for sale, the telescope was part of Astronomy's inventory. *See* UCC § 9-102(a)(48). Thus, it was covered by the security interest granted by Astronomy to Bank. The security interest was enforceable and attached because the three criteria in UCC § 9-203(b) were fulfilled: value had been given (Bank loaned money to Astronomy), Astronomy had rights in the telescope, and Astronomy had authenticated (signed or its electronic equivalent) a security agreement containing a description of the collateral. Bank's security interest in the telescope was also perfected. Filing the statement satisfied the requirement in UCC § 9-310 that a financing statement must be filed to perfect a nonpossessory security interest in goods.

Point One(b) (30%)

Bank's security interest in the telescope did not continue after the successive sales of the telescope to Johnson and Smith.

As a general rule, a security interest continues after sale of the collateral. UCC § 9-315(a)(1). However, that general rule is subject to many exceptions, one of which applies here: a buyer in ordinary course of business (BIOCOB) takes free of a security interest created by that buyer's seller. *See* UCC § 9-320(a). A BIOCOB is a buyer who buys goods in good faith, without knowledge that the sale violates the rights of another, from a person in the business of selling goods of the kind, in the ordinary course of the seller's business. *See* UCC § 1-201(b)(9) (UCC § 1-201(9) in states that have not enacted Revised Article 1). Johnson qualifies as a BIOCOB. Johnson bought the telescope from a person (Astronomy) in the business of selling goods of the kind in the ordinary course of Astronomy's business, and there is no indication in these facts that Johnson failed to act in good faith or had knowledge that the sale violated the rights of another. Because Johnson was a BIOCOB, he took the telescope free of Bank's security interest, which was created by his seller, Astronomy.

Since Johnson owned the telescope free of that security interest, under general property principles all of Johnson's property rights in the telescope were transferred to Smith when Johnson sold the telescope to Smith. *See also* UCC § 2-403(1). Thus, Smith acquired the telescope free of Bank's security interest. This is known in secured transactions law as the "shelter principle."

Point Two(a) (25%)

Before Johnson sold the telescope, Astronomy had a perfected security interest in it.

The security agreement between Johnson and Astronomy provided that Astronomy retained a security interest in the telescope to secure Johnson's obligation to pay the remainder of the purchase price. The security interest was enforceable and attached because the three criteria in UCC § 9-203(b) were fulfilled: value had been given (the telescope), Johnson had rights in the telescope, and Johnson had authenticated (signed or its electronic equivalent) a security agreement containing a description of the collateral.

Astronomy's security interest in the telescope was also perfected, even though Astronomy did not file a financing statement. This is because Astronomy's security interest was a purchase-money security interest (PMSI) in consumer goods. It was a PMSI because it was retained by the seller of the telescope to secure the buyer's obligation to pay the remainder of the purchase price. *See* UCC § 9-103. The telescope constituted consumer goods because it was bought by Johnson for personal, family, or household purposes. UCC § 9-309(1) provides that a PMSI in consumer goods perfects automatically upon attachment; thus, it was not necessary for Astronomy to file a financing statement to perfect its security interest.

Point Two(b) (25%)

Astronomy's security interest in the telescope is not enforceable against Smith.

Prior to the sale from Johnson to Smith, Astronomy had a perfected security interest in the telescope. (*See* Point Two(a).) Smith does not qualify as a BIOCOB because, *inter alia*, Smith did not buy the telescope from someone in the business of selling goods of that kind. (Johnson was not in the business of selling telescopes.) Thus, Smith did not take free of Astronomy's

security interest pursuant to UCC § 9-320(a). However, a buyer of consumer goods takes free of a security interest in those goods if the buyer buys without knowledge of the security interest; gives value; buys for personal, family, or household use; and receives the goods before the filing of any financing statement covering them. *See* UCC § 9-320(b). Smith fulfilled these criteria. (Recall that Astronomy was not required to file a financing statement to perfect its security interest because it was a purchase-money security interest.) Thus, Smith took the telescope free of Astronomy's security interest in it.

[NOTE: Some examinees may note that Astronomy's rights against Johnson constitute chattel paper in which Bank has a security interest as proceeds of its original collateral. This is correct but does not affect the answer to the question posed because Smith is free of both security interests.]

TORTS ANALYSIS

(Torts I.A., B.1.; III; IV)

ANALYSIS

Legal Problems

- (1)(a) Did use of a stun device to shock Claimant establish a prima facie case of battery?
- (1)(b) Did frisking Claimant establish a prima facie case of battery?
- (2) Did Claimant consent to either the frisk or the stun-device shock?
- (3) Is the manufacturing defect in the Alertco device actionable in strict products liability?
- (4) Can Claimant recover damages for her depressive reaction to the malfunctioning stun device even though that depressive reaction was unforeseeable?

DISCUSSION

Summary

A prima facie case of battery is established when the plaintiff shows that she suffered a harmful or offensive contact and that the defendant intended to cause such a contact. Guard's use of a stun device against Claimant meets this test because Guard intentionally administered a painful and physically incapacitating shock to Claimant's body. However, it is unclear whether Inspector's frisk of Claimant's body satisfies this test, as such a frisk may not be sufficiently offensive to constitute battery and Inspector may have been unaware that Claimant would be offended by the frisk. Moreover, because conduct can manifest consent, Claimant may have consented to the frisk when she walked through the metal detector. On the other hand, Claimant did not manifest consent to being shocked with the stun device.

A manufacturer is strictly liable for manufacturing defects. Alertco is thus liable for the defective stun device because the defect arose during the manufacturing process.

Because a tort defendant "takes his victim as he finds him," Claimant may recover for her unforeseeable depressive reaction to the stun device.

Point One(a) (20%)

A prima facie case of battery is established when the plaintiff shows that she suffered a harmful or offensive contact and that the defendant intended to cause such a contact. Guard's use of a stun device against Claimant satisfies this test. Thus, because Guard was acting within the scope of his employment, Claimant can establish a prima facie case against Metro.

An actor is subject to liability to another for battery if (a) he acts intending to cause a harmful or offensive contact with the person and (b) a harmful or offensive contact results. RESTATEMENT (SECOND) OF TORTS §§ 13 (Battery: Harmful Contact) & 18 (Battery: Offensive Contact) (1965). Intent, for purposes of establishing a battery, means either that “the actor desires to cause [the] consequences of his act” or that he “knows that the consequences are certain, or substantially certain, to result from his act” *Id.* § 8A & cmt. b.

Guard’s use of a stun device to subdue Claimant meets these standards for an actionable battery. First, the use of a stun device both incapacitates the target and causes the target to suffer pain. Either effect constitutes “bodily harm” for purposes of establishing a prima facie case of battery. *See id.* § 15 (“bodily harm” includes “any physical impairment of the condition of another’s body, or physical pain or illness”). Second, Guard certainly used the stun device for the purpose of physically impairing Claimant. His goal was to make it easier to subdue Claimant by causing physical impairment. Furthermore, although the facts do not say so explicitly, it is a reasonable assumption that Guard was aware that stun devices cause pain when they are used against someone. Thus, Guard’s actions amount to battery: Guard intended to, and did, cause a harmful contact with Claimant. Because Guard was acting within the scope of his employment, Claimant can establish a prima facie case against Metro.

Point One(b) (20%)

It is unclear whether Inspector’s frisk of Claimant establishes a prima facie case of battery. It is possible that Claimant will not be able to show intent to cause a harmful or offensive contact.

Inspector’s frisk of Claimant was not harmful, but a contact can also constitute battery if it is *offensive*. “A bodily contact is offensive if it offends a reasonable sense of personal dignity.” RESTATEMENT (SECOND) OF TORTS § 19 (1965). The facts make clear that Claimant found the contact offensive, but this is not determinative. Claimant must additionally show that being frisked offends a “reasonable” sense of dignity.

The frisk in this case was part of a routine screening process, and screening like this is now frequently encountered in airports and other public places. The routine nature of such screening may mean that it is no longer “reasonable” to be offended by it. On the other hand, the fact that Metro generally required employees to ask permission before frisking opera patrons suggests that frisking is often experienced by people as offensive, especially if it occurs without permission. It is thus possible, but not certain, that a routine frisk would be viewed by a court as a contact that “offends a reasonable sense of personal dignity.”

Even if the frisk were considered offensive, a prima facie case of battery based on the frisk cannot be established unless Inspector is shown to have acted with intent to cause an offensive contact. To establish intent, Claimant must show that Inspector had the purpose of causing offense or knew he would cause offense by frisking Claimant. It is not enough to show that Inspector may have been aware of a risk that some patrons would be offended by a frisk. Battery’s protection against “offensive contact” is intended to protect a person’s “dignitary” interest. That interest “is protected *only* against intentional invasion. The actor is not liable for an act which involves a risk, no matter how great and unreasonable, that it will cause . . . an offensive contact.” *Id.* § 18, cmt. g (emphasis added).

Because opera patrons were warned of the possibility of being frisked, Inspector may have assumed that they would not be offended by such a contact. On the other hand, Inspector did not warn Claimant before initiating the frisk in question, and it is unclear in what manner Inspector conducted that frisk. Claimant can establish a prima facie case if she can present some

Torts Analysis

facts suggesting that Inspector knew with substantial certainty that Claimant's "reasonable sense of personal dignity" would be offended by Inspector's decision to touch her without warning, or that Inspector knew that the manner in which he touched Claimant would be offensive to her. But, absent some facts suggesting Inspector's knowledge that the frisk would be offensive, the mere fact that Inspector intentionally contacted Claimant's person does not satisfy the requirements for an actionable battery.

[NOTE: The examinee's analysis is more important than his or her conclusion.]

Point Two (30%)

Because conduct can manifest consent, Claimant may have consented to being frisked. Claimant did not manifest consent to being shocked with the stun device.

Consent—"willingness in fact for conduct to occur"—is a defense to battery. RESTATEMENT (SECOND) OF TORTS § 892. Consent "may be manifested by action or inaction and need not be communicated to the actor." Thus, "[i]f words or conduct are reasonably understood by another to be intended as consent, they constitute apparent consent and are as effective as consent in fact." *Id.*

Claimant did not intend to consent to Inspector's search of her person. Claimant told Friend, "I'm certainly not going to allow anyone to touch me," and told Inspector, "Leave me alone!"

However, a defendant is entitled to rely on objective manifestations of consent. Thus, because Claimant read the warning sign, saw opera patrons being frisked, and still proceeded through the metal detector, Metro can argue that its employee, Inspector, was entitled to infer that Claimant had consented to being frisked herself. *See O'Brien v. Cunard Steamship Co.*, 28 N.E. 266, 274 (Mass. 1891) (finding that the plaintiff consented to vaccination when she stood in line with other passengers and "there was nothing in [her] . . . conduct . . . to indicate . . . that she did not wish to obtain a [vaccination] card").

On the other hand, the fact that Metro usually required its employees to request permission before frisking patrons suggests that it did not infer consent to frisking from a patron's decision to proceed through the metal detector. A court thus might conclude that it was unreasonable to infer Claimant's consent to being frisked.

Metro has no possible argument that Claimant consented to being shocked with a stun device. Claimant did not see the stun device in use, and there were no signs warning of its use.

There are no other defenses available to Metro. The privilege to exercise force in self-defense or defense of others is unavailable because Claimant's statement ("Leave me alone!") could not reasonably be interpreted as a threat. *See* RESTATEMENT (SECOND) OF TORTS § 63 ("An actor is privileged to use reasonable force . . . to defend himself against unprivileged harmful or offensive contact or other bodily harm which he reasonably believes that another is about to inflict . . .").

Point Three (15%)

A manufacturer is strictly liable for a defective product. Alertco is thus liable for the defective stun device even though Claimant cannot show that Alertco was negligent.

Alertco's product contained a manufacturing defect; it failed to meet Alertco's own specifications, and the defect occurred during the product's manufacture. *See* RESTATEMENT (THIRD) OF TORTS: PRODUCTS LIABILITY § 2 (1998). In order to recover for injuries sustained

because of a manufacturing defect, a plaintiff need not show that the manufacturer was negligent. The manufacturer is strictly liable whenever “the product departs from its intended design even though all possible care was exercised in the preparation and marketing of the product . . .” *Id.* In this case, the evidence establishes that the defect occurred during the manufacturing process. Thus, despite Alertco’s excellent quality control, it is strictly liable to Claimant.

Point Four (15%)

Because a tort defendant “takes his victim as he finds him,” Claimant may recover for her unforeseeable depressive reaction to the stun device.

“When an actor’s tortious conduct causes harm to a person that, because of a preexisting physical or mental condition or other characteristics of the person, is of a greater magnitude or different type than might reasonably be expected, the actor is nevertheless subject to liability for all such harm to the person.” RESTATEMENT OF TORTS: LIABILITY FOR PHYSICAL HARM § 31 (2010). Thus, the plaintiff with an “eggshell skull” who suffers injuries different from or greater than those that a normal victim would suffer is entitled to recover fully for his injuries.

Claimant’s history of depression is a preexisting condition, like an eggshell skull. Thus, despite the fact that a depressive reaction to the stun device was unforeseeable, Alertco is liable for both Claimant’s physical and psychological injuries. *See Bartolone v. Jeckovich*, 481 N.Y.S.2d 545 (N.Y. App. Div. 1984); *Steinhauser v. Hertz Corp.*, 421 F.2d 1169 (2d Cir. 1970).

FAMILY LAW ANALYSIS

(Family Law III.D., F., G. & J.; V.B.3.)

ANALYSIS

Legal Problems

- (1) On what basis may the property-division and support provisions of a separation agreement be invalidated, and is there evidence to support invalidation in this case?
- (2) When, if ever, may the property-division provisions of a divorce decree be modified?
- (3) When, if ever, may the spousal- and child-support provisions of a divorce decree be modified?
- (4) May the nonpaternity of a mother's husband be established after entry of a divorce judgment when the child is 10 years of age and the husband is the only father the child has ever known?

DISCUSSION

Summary

Both the support and property-division provisions of a separation agreement may be invalidated based on a finding of unconscionability or fraud. Here, there are insufficient facts to support a finding of unconscionability with respect to the property-division or spousal-support portions of the agreement. Given the variety of approaches currently applied by the states to paternity misrepresentation and disestablishment, it is unclear whether the court erred in denying Husband's petition to invalidate the child-support provisions of the separation agreement.

A spousal- or child-support order may be modified based on a change of circumstances after the order was entered. However, there has been no change of circumstances in this case because Husband knew or should have known of the economic needs of his intended wife and stepchildren before signing the agreement, and there is no evidence that those needs have changed. It is unclear whether Husband can obtain modification of his child-support obligation based on his nonpaternity of Child.

Point One (40%)

A separation agreement may be invalidated, in whole or in part, based on unconscionability or fraud. Here, there are insufficient facts to support a finding of unconscionability with respect to the property-division or spousal-support portions of the agreement. Given the variety of approaches currently applied by the states to paternity misrepresentation and disestablishment, it is unclear whether the trial court erred in denying Husband's petition to invalidate the child-support provisions of the separation agreement based on fraud.

All states authorize invalidation of a separation agreement, or a specific portion of such an agreement, based on a finding of fraud or unconscionability. Here, there is no evidence of asset or income misrepresentation. And, although judicial interpretations of the unconscionability test vary (*compare Jameson v. Jameson*, 239 N.W.2d 5 (S.D. 1976) with *Williams v. Williams*, 508 A.2d 985 (Md. 1986)), the facts do not appear to support an unconscionability finding with respect to the property-division or spousal-support portions of the agreement. The parties were represented by separate counsel, and there is no evidence of asset nondisclosure. Nor will the unconscionability doctrine serve to relieve a spouse whose complaint is simply that he believes he made a bad bargain. *See Jameson*, 239 N.W.2d at 7. It is not even clear that Husband made a bad bargain. Although he did receive fewer assets than Wife, most states require *equitable*, not equal, division of assets, and equity is determined through a complex assessment of contribution and need-based factors. *See HARRY A. KRAUSE ET AL., FAMILY LAW: CASES, COMMENTS, AND QUESTIONS* (6th ed. 2007) at 752. Moreover, the agreement requires Husband to pay only \$10,800 per year (13.5 percent of his total income) in *combined* child and spousal support. Many state child-support guidelines would require Husband to pay this much or more in child support alone. *See id.* at 891–93 (reviewing support guidelines). Thus, it is highly unlikely that an appellate court would find reversible error in the trial court’s refusal to invalidate these portions of the agreement based on unconscionability.

It is unclear whether an appellate court would find reversible error in the trial court’s refusal to invalidate the child-support portion of the agreement, however. It is now apparent that Husband is not Child’s biological parent. Arguably, Wife’s failure to alert Husband to this possibility was a form of misrepresentation which might support a finding of fraud. A few courts have permitted tort actions against a wife who misrepresented her husband’s paternity. *See Miller v. Miller*, 956 P.2d 887 (Okla. 1998); *G.A.W., III v. D.M.W.*, 596 N.W.2d 284 (Minn. App. 1999). In a state with such case law, it is possible that an appellate court might conclude that Wife’s conduct provided a basis for invalidating the child-support provisions of the agreement. *See Point Three, infra.*

Point Two (10%)

A divorce property-division award is not subject to modification.

Although a support award may be modified after a divorce decree has been entered, a property-division award, whether it results from a judicial decision or a divorce settlement agreement, may not be modified after a divorce decree has been entered. *See KRAUSE ET AL., supra*, at 991. This distinction rests on a fundamental difference between support and property division. A support order requires payment, over what may be a long period of time, of post-divorce income, while a property-division award divides assets accrued during the marriage based on the equities at the time of divorce. Property division thus reflects an evaluation of the past, and support determination reflects an evaluation of the future. Because the future is unpredictable, courts are empowered to modify a support award to take account of changed circumstances. Because the past can be ascertained, courts are not empowered to reconsider that evaluation and modify a property-division award once it has been embodied in a final judgment of divorce. Thus, the trial court did not err in refusing to modify the property-division provisions of the divorce decree.

Point Three (25%)

A spousal-support award may be modified when the court finds that there has been a substantial change in a party’s circumstances. Because Husband knew of his future obligations to his new

spouse and stepchildren at the time he signed the agreement, there is no change of circumstances in this case.

In all states, a spousal-support award may be modified based on a change in a party's circumstances. Most courts require that such a change be substantial. *See* HARRY D. KRAUSE & DAVID D. MEYER, *FAMILY LAW IN A NUTSHELL*, 303–05 (5th ed. 2007).

A court may take into account legal obligations to a new spouse and/or children in determining whether there has been a change in circumstances that warrants modification of a support award. *See id.* However, in this case, Husband does not have new adopted or biological children to whom he owes support; he has stepchildren. In most states, a stepparent relationship creates no legal support obligations. *See id.* at 175–76.

More importantly, a change in circumstances that is *anticipated* may not serve as a basis for modification of a support order. *See* M.L. Cross, Annotation, *Change in Financial Condition or Needs of Husband or Wife as Ground for Modification of Decree for Alimony or Maintenance*, 18 A.L.R.2d 10 § 3 (1951 & Supp.). Here, Husband knew about the support needs of Fiancée and her children at the time he signed the separation agreement; Husband was living with Fiancée and the children at the time the agreement was signed, and his planned marriage to Fiancée was the reason Husband was willing to sign the agreement as presented. Thus, because Husband's decision to sign the agreement and accept these support obligations was made with full knowledge of his impending marriage, he cannot now claim that marriage as a change of circumstances that warrants modification of his obligations under the divorce decree. Therefore, the trial court should not modify the spousal-support award based on the needs of Husband's new wife and her children.

Point Four (25%)

It is unclear whether the trial court erred in refusing to modify the child-support award based on Husband's nonpaternity of Child.

Traditionally, courts have been extremely reluctant to terminate an established parent-child relationship and have relied on a wide range of equitable and procedural principles to avoid doing so. Some courts have found that a prior legal judgment, such as the divorce decree terminating Husband's and Wife's marriage, bars the introduction of nonpaternity evidence based on application of res judicata or collateral estoppel principles. *See* Alan Stephens, Annotation, *Parental Rights of Man Who Is Not Biological or Adoptive Father of Child but Was Husband or Cohabitant of Mother When Child Was Conceived or Born*, 84 A.L.R.4th 655 (1991 & Supp.) (collecting cases). Other courts have relied on the equitable doctrines of estoppel and laches to achieve the same result. *See* AM. LAW INST., *PRINCIPLES OF THE LAW OF FAMILY DISSOLUTION: ANALYSIS & RECOMMENDATIONS* § 3.03 cmt. d (2002); John C. Williams, Annotation, *Laches or Acquiescence as Defense, so as to Bar Recovery of Arrearages of Permanent Alimony or Child Support*, 5 A.L.R.4th 1015 (1981 & Supp.). Moreover, some courts have simply cited the child's best interest, without relying on any specific legal principle, as justification either for denying permission to introduce evidence of nonpaternity or for denying a petition to disestablish paternity. *See, e.g., Godin v. Godin*, 725 A.2d 904, 911 (Vt. 1998). *See also* Stephens, *supra*. Under this latter approach, the trial court correctly denied Husband's petition to modify his support obligation based on his nonpaternity because Child is 10 years old, Husband is the only father Child has known, and there is no evidence that another father-child relationship could be established.

However, in recent years, a number of courts have placed greater emphasis on the interests of erroneously identified fathers. For example, in *M.A.S. v. Mississippi Department of Human Services*, 842 So. 2d 527 (Miss. 2003), the Mississippi Supreme Court held that a paternity judgment could be vacated more than nine years after its entry based on DNA tests performed in an unrelated matter which revealed that the petitioner was not the child's biological father. Although *M.A.S.* involved a nonmarital child, the Mississippi courts have since applied its reasoning in a case brought by a divorced petitioner. Although the petitioner had lived with the child only during its first month of life and had limited contact thereafter, the court did not rely on the tenuous parent-child relationship in granting the disestablishment petition. Instead, the court stated its belief that "the best interest of the child . . . is to know the identity of the natural father" and "refuse[d] to sanction the manifest injustice of forcing a man to support a child which science has proven not to be his." *Williams v. Williams*, 843 So. 2d 720, 723 (Miss. 2003). See also *Doran v. Doran*, 820 A.2d 1279 (Pa. Super. Ct. 2003) (utilizing similar approach).

Some states have also adopted new paternity disestablishment legislation that places greater emphasis on the interests of erroneously identified fathers. See, e.g., GA. CODE ANN. § 19-7-54 (2009) (mandating paternity disestablishment in certain circumstances when genetic testing demonstrates a zero percent probability of paternity). See also Paula Roberts, *Truth and Consequences: Part II. Questioning the Paternity of Marital Children*, 37 FAM. L.Q. 55, 94 (Appendix F) (2003) (listing 12 state statutes allowing paternity disestablishment by a married father and noting a strong trend toward enactment of such legislation). Under a legislative or judicial standard which permits paternity disestablishment without regard to the child's relational and financial interests, a court could appropriately accept the blood tests offered by Husband, enter a finding of nonpaternity, and terminate Husband's support obligation.

In a state where the courts or the legislature has adopted rules favoring the ability of erroneously identified fathers to prove nonpaternity, Husband's motion to disestablish his paternity and eliminate his child-support obligation would be more likely to succeed. Even in such states, if Husband was aware of his nonpaternity and had an opportunity to litigate the issue at the time of entry of the divorce decree, courts are likely to treat the divorce decree as res judicata on the paternity issue and conclude that there are no changed circumstances warranting a modification of the child-support order. *Nancy Darlene M. v. James Lee M., Jr.*, 400 S.E.2d 882 (W. Va. 1990). However, some courts have allowed motions to modify a child-support order in a divorce decree on the basis of nonpaternity, even when that issue was litigated in the original action, reasoning that a motion to modify is a direct attack on the judgment, not a collateral attack, and therefore is not barred by res judicata principles. *Dixon v. Pouncy*, 979 P.2d 520, 524 (Alaska 1999).

CONTRACTS ANALYSIS

(Contracts I.A., B.2; IV.A.3; V.A.)

ANALYSIS

Legal Problems

- (1)(a) Was a contract formed when Designer offered Retailer a discounted payoff in exchange for early cash payment; Retailer responded, “Thanks. That’s a good deal. I don’t have the cash to pay you now. I’ll do it if I can get a loan”; and Designer replied, “That will be great”?
- (1)(b) If a contract was formed, did Retailer breach that contract by making only minimal efforts to obtain the necessary cash?
- (2) If Retailer breached the contract, is Retailer liable for Designer’s loss caused by Designer’s inability to make a planned investment that would have netted a \$35,000 gain for Designer?
- (3) If Retailer breached the contract, is Retailer liable for punitive damages?

DISCUSSION

Summary

Retailer and Designer entered into a new, modified contract which Retailer breached. Designer’s opening statement was an offer. However, because Retailer’s response added a condition, his need to take out a loan to obtain the cash to pay early, the response did not constitute acceptance of Designer’s offer. Rather, Retailer’s response was a counteroffer, which Designer accepted, thereby creating a contract. That contract contained Retailer’s implied promise to make a good-faith effort to borrow the needed cash. Retailer did make some efforts to get the cash, but these efforts were not sufficient to constitute good faith. Therefore, Retailer breached the contract by not acting in good faith.

The ordinary measure of damages in a contract action is expectation damages, which aim to put the nonbreaching party in the position he expected to be in following full performance. Here, if Retailer had not breached, Designer would have had \$15,000 to make an investment that would have netted a \$35,000 gain. Because these losses were foreseeable and reasonably certain, Designer will be able to recover his actual damages.

Designer will not be able to collect punitive damages because Retailer’s conduct was not tortious.

Point One(a) (40%)

Designer made an offer to Retailer to modify their existing contract. Retailer did not accept the offer. Instead, Retailer made a counteroffer, which Designer then accepted, forming a modified contract.

Designer's statement "I need cash quickly to make an investment. . . . [I]f you promise now to pay me \$15,000 in cash by the 25th of this month, I will accept that payment as satisfying your obligation under our contract for this year" was an offer to enter into a new, modified contract. Retailer did not accept this offer. Instead, Retailer said, "Thanks. That's a good deal. I don't have the cash to pay you now. I'll do it if I can get a loan." This response, impliedly making Retailer's obligation to perform conditioned upon his getting a loan, contained an additional term and was, therefore, a counteroffer. *See* RESTATEMENT (SECOND) OF CONTRACTS § 59. Designer's response, "That will be great," indicated assent to the terms of Retailer's counteroffer even though it did not include specific words of acceptance. There was consideration for the modified contract under the bargained-for-exchange test because Designer agreed to accept a reduced payment and Retailer agreed to pay early if he could get a loan. *See id.* § 71.

It might be argued that Retailer's response did not constitute a counteroffer because Retailer did not explicitly state that his performance was conditioned upon getting a loan. However, Retailer's response made it clear that Retailer could not complete the contract unless Retailer obtained a loan, and Designer certainly understood this. Therefore, the parties entered into a contract on the terms offered by Retailer.

[NOTE: An examinee may discuss this issue in terms of an amendment to the existing contract. Such an analysis should receive full credit.]

Point One(b) (30%)

Retailer breached the contract by failing to make good-faith efforts to obtain the necessary loan.

Retailer might argue that because he did not get the loan, his obligation to pay never arose and he was not in breach. In fact, the language used only suggested that Retailer's obligation to perform would be subject to a condition precedent, that is, his getting the loan.

However, the contract contained an implied obligation to make good-faith efforts to obtain a loan. Without such an implied obligation, the contract would be illusory because Retailer would have no obligation. *See Wood v. Lucy, Lady Duff-Gordon*, 222 N.Y. 88, 118 N.E. 214 (1917); *Mezzanotte v. Freeland*, 200 S.E.2d 410 (N.C. Ct. App. 1973).

To satisfy the requirement of making good-faith efforts, Retailer must have taken reasonable steps to obtain the necessary cash. Here, Retailer did no more than pick up two loan applications which he did not even submit. His actions were not sufficient to constitute a good-faith effort to obtain the loan. Retailer therefore breached the contract.

Point Two (20%)

Designer is entitled to recover from Retailer his actual damages, which would include the gain that he would have realized on the investment he intended to make.

The normal measure of damages for breach of contract is expectation damages, which aim to give the nonbreaching party the benefit of his bargain. *See* FARNSWORTH, CONTRACTS § 12.1 (3d ed. 2004). Expectation damages must be foreseeable, *see Hadley v. Baxendale*, 156 Eng. Rep. 145 (1854), and proved with reasonable certainty, *see* FARNSWORTH, *supra*, § 12.1.

Here, when Designer made the initial offer, he stated that he needed cash quickly to make a potentially profitable investment. On these facts, it is foreseeable that Designer would not be able to make the investment when Retailer failed to make timely payment. It is not necessary that the profitability of the investment be foreseeable at the time of the breach. It is enough that the fact of the investment is foreseeable, and here it was, because Designer told Retailer that

Contracts Analysis

Designer needed the cash to make an investment, making the damages foreseeable. The facts state that Designer can prove that he would have made \$35,000 on the investment, making the damages reasonably certain. Therefore, Retailer is liable for Designer's actual damages.

Point Three (10%)

Designer is not entitled to recover punitive damages because such damages are not ordinarily recoverable in a contract action.

Punitive damages are not generally recoverable as an element of damages in a breach of contract action "unless the conduct constituting the breach is also a tort for which punitive damages [can be recovered]." RESTATEMENT (SECOND) OF CONTRACTS § 355. The facts do not indicate any conduct on the part of Retailer that would constitute a tort compensable through punitive damages. Therefore, Designer is not entitled to recover punitive damages.

CORPORATIONS ANALYSIS

(Corporations and Limited Liability Companies I.A.; II)

ANALYSIS

Legal Problems

- (1) When did Delta's corporate existence begin?
- (2) Is Adam, Baker, or Clark personally liable on the Mega contract?
- (3) Is Adam, Baker, or Clark personally liable on the Sole contract?

DISCUSSION

Summary

Delta's corporate existence began only upon Adam's filing of Delta's articles of incorporation on November 15. The recitation in the articles of a stated earlier effective date (September 1) is of no legal consequence. Only Adam is personally liable on the Mega contract because Adam alone participated in entering into the contract with knowledge that the articles had not been filed. Adam and Baker, but not Clark, are liable on the Sole contract. That contract was executed by Delta before its articles were filed. Adam and Baker, but not Clark, participated in entering into the contract with knowledge that Delta's articles had not been filed. Thus, Adam and Baker are personally liable for the Sole contract, and Clark is not personally liable.

Point One (20%)

Delta achieved corporate status upon the filing of its articles of incorporation on November 15. The filing of Delta's articles of incorporation does not relate back to the earlier date of September 1 specified in the articles.

Under the Model Business Corporation Act (MBCA) § 2.03(a) (1984, with 2000 amendments), ". . . corporate existence begins when the articles of incorporation are filed." Because "[i]ncorporation under modern statutes is so simple and inexpensive . . . nothing short of filing articles of incorporation should create the privilege of limited liability." *Id.*, ch. 2 official cmt.

This date-of-filing rule applies even if the filed articles recite an effective date prior to the date of filing. The MBCA allows the parties to specify "a delayed effective date" but not an earlier effective date. *Id.* § 2.03(a). Thus, the recitation in Delta's articles of an earlier effective date is ineffective; Delta's corporate existence began on the date that Adam filed the articles.

Point Two (40%)

When a corporation's articles of incorporation have not been filed, persons purporting to act for the corporation are personally liable for corporate debts if they knew when the debt was incurred that there was no incorporation.

The fact that Delta's articles of incorporation were not filed when Delta entered into the contract with Mega does not automatically make Adam, Baker, and Clark liable to Mega for amounts due on that contract. Under the MBCA, "[a]ll persons purporting to act as or on behalf of a corporation, knowing there was no incorporation under this Act, are jointly and severally liable for all liabilities created while so acting." § 2.04. Thus, under § 2.04 both the participation and knowledge requirements must be met to hold any of Adam, Baker, and Clark liable.

With regard to the Mega contract, only Adam purported to act on Delta's behalf and only Adam knew that Delta's articles had not been filed. Therefore, Adam is personally liable on the Mega contract. On the other hand, neither Baker nor Clark satisfies either the participation or knowledge requirement. Thus, neither is liable on the Mega contract.

[NOTE: The facts clearly state when Baker learned that the articles had not been filed: October 15. Clark, however, at all times believed that Delta's articles of incorporation had been filed.]

[NOTE: Examinees may discuss the de facto incorporation doctrine under which a shareholder is not liable for the obligations of a defectively incorporated corporation when there was "a bona fide attempt to organize . . . and colorable or apparent compliance with the requirements of the law." *Gillette v. Aurora Ry. Co.*, 81 N.E. 1005, 1009 (Ill. 1907); *Milligan v. Milligan*, 956 So. 2d 1066, 1074 (Miss. Ct. App. 2007). Such analysis is inapplicable here. First, the MBCA (which the facts state governs this problem) abolished the doctrine. Even in a non-MBCA jurisdiction, the doctrine would not apply here because Adam did nothing to attempt compliance with the statutory requirements. "Without allegations that a certificate of formation was ever prepared or filed, there is no basis . . . to claim a good-faith attempt to comply with [statutory requirements]." *Leber Associates, LLC v. The Entertainment Group Fund, Inc.*, No. 00 Civ. 3759, 2003 U.S. Dist. LEXIS 13009 at *33 (S.D.N.Y. July 29, 2003) (applying Delaware law).]

Point Three (40%)

Persons purporting to act for a corporation are personally liable for a corporate contract if they entered into the contract with knowledge that there was no incorporation.

When a corporation's articles of incorporation have not been filed, a person is liable for pre-incorporation transactions only when the person purporting to act on behalf of a corporation not yet formed possesses actual knowledge that the corporation's charter has not yet been issued. *See* MBCA § 2.04; *Weir v. Kirby Construction Co., Inc.*, 446 S.E.2d 186 (1994). It is not enough to establish liability that a person should have inquired about the entity's status and should have known that the corporation was not formed, as those facts do not rise to the level of actual knowledge required. *See Sivers v. R & F Capital Corp.*, 858 P.2d 895, 898 (Or. Ct. App. 1993).

Here, with regard to the Sole contract, Adam and Baker knew that Delta's articles of incorporation had not been filed at the time Delta entered into that contract, while Clark did not know. Baker might argue that, as a mere prospective shareholder, he was not a "[person] purporting to act as or on behalf of a corporation," MBCA § 2.04, and thus has no liability. This argument is likely to fail. With regard to the Sole contract, Baker was more than a prospective shareholder—he participated in the negotiation of the contract and therefore purported to act on behalf of a corporation. Further, the official commentary to § 2.04 suggests that its protection does not extend to individuals in Baker's position. ("[Section 2.04] does not foreclose the possibility that persons who urge defendants to execute contracts in the corporate name knowing that no steps to incorporate have been taken may be estopped to impose personal liability on

individual defendants.”) Rather, the provision is intended to shield those who erroneously but in good faith believe that the necessary documents have been filed. *See Cranson v. IBM*, 200 A.2d 33 (Md. 1964). Here, at the time of the Sole contract, Baker knew that Delta’s articles had not been filed and therefore did not have the necessary good-faith belief to the contrary. Thus, Baker, together with Adam, will be personally liable on the Sole contract. Clark, however, is not liable because he does not meet the participation requirement nor does he satisfy the knowledge requirement; he believed at all relevant times that the articles had in fact been filed. However, even if Clark had knowledge that the articles had not been filed, he would not be liable on the Sole contract because he does not meet the participation requirement.

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure I.A.1; IV.A. & C.)

ANALYSIS

Legal Problems

- (1) May a defendant make a motion to dismiss for insufficiency of service of process when the defendant has already moved to dismiss for failure to state a claim upon which relief can be granted?
- (2) Do the Federal Rules of Civil Procedure permit a defendant to join a cross-claim against a co-defendant if it arises out of the same events as the plaintiff's claim against the defendants?
- (3)(a) Does a federal district court have independent subject-matter jurisdiction over a state law cross-claim for \$20,000 between two defendants who are citizens of the same state?
- (3)(b) Does a federal district court have supplemental subject-matter jurisdiction over a state law cross-claim for \$20,000 between two defendants who are citizens of the same state?

DISCUSSION

Summary

Because Bartender made a motion to dismiss the action against him for failure to state a cause of action without raising his defense of insufficiency of service of process, he was barred from raising that defense at a later time. The court therefore was correct in denying his motion, even if Bartender had a valid claim that the manner of service was improper.

Bartender's claim against Dave arises out of the same transaction or occurrence as Plaintiff's claim. The claim therefore qualifies as a cross-claim under Rule 13(g) of the Federal Rules of Civil Procedure, and Bartender may state that claim in his answer to the complaint.

A federal court would not have subject-matter jurisdiction over Bartender's claim against Dave if that claim were filed as an independent action. However, Plaintiff's original claim and Bartender's cross-claim are sufficiently closely related to form part of the same case or controversy under Article III of the United States Constitution. Accordingly, the supplemental jurisdiction statute authorizes the federal court to take jurisdiction over Bartender's cross-claim.

Point One (30%)

The court correctly denied Bartender's motion to dismiss for insufficiency of service of process because that defense was not raised when Bartender made his motion to dismiss for failure to state a claim.

Although it is likely that service of process was improper in this case, the district court nonetheless was correct to deny Bartender's motion to dismiss on that basis. Bartender initially responded to Plaintiff's complaint by making a motion to dismiss for failure to state a cause of action. FED. R. CIV. P. 12(b)(6). When that motion was denied, Bartender moved to dismiss for insufficiency of service of process. FED. R. CIV. P. 12(b)(5).

When a motion pursuant to Rule 12(b) is initially made, a party may join with that motion all other motions permitted by Rule 12 that are then available to the party. If a party makes a Rule 12(b) motion and fails to join certain other available defenses or objections, the party may not later raise those objections and defenses. In particular, a party that makes a Rule 12(b) motion but omits from that motion a defense of insufficiency of service of process is deemed to have waived that defense. FED. R. CIV. P. 12(h)(1).

Because Bartender made a Rule 12(b) motion to dismiss for failure to state a claim but did not join his available defense of insufficiency of service of process, Bartender waived that defense. Hence, the district court was correct to deny Bartender's motion to dismiss on that ground. It does not matter that Bartender appears to have had a valid claim that service was improper.

Point Two (30%)

Rule 13(g) of the Federal Rules of Civil Procedure permits a defendant, in the answer, to state a cross-claim against a co-defendant if it arises out of the same transaction or occurrence as the original claim.

Rule 13(g) of the Federal Rules of Civil Procedure provides that a defendant's answer may state as a cross-claim against a co-defendant any claim that "aris[es] out of the transaction or occurrence that is the subject matter of the original action" between the plaintiff and the defendants. The policy underlying Rule 13(g) is efficiency; multiple lawsuits are avoided if defendants bring related cross-claims in the context of the plaintiff's suit. 6 CHARLES ALAN WRIGHT ET AL., *FEDERAL PRACTICE AND PROCEDURE CIVIL* § 1431, at 267 (2010).

Here, Plaintiff's claims concern Dave's injury of Plaintiff and Bartender's service of alcohol to Dave. Bartender's cross-claim concerns Dave's injury of Bartender. The question is whether these various claims arise out of the same transaction or occurrence.

To determine whether two different claims arise out of the same "transaction or occurrence" for purposes of Rule 13, federal courts look at a number of factors: (1) whether the issues of fact and law in the plaintiff's claim and the defendant's cross-claim are essentially the same, (2) whether the same evidence would support or refute the plaintiff's claim and the defendant's cross-claim, (3) whether there is a logical relationship between the plaintiff's claim and the defendant's cross-claim, and (4) whether res judicata would bar a subsequent suit on the cross-claim. *See, e.g., Q Int'l Courier, Inc. v. Smoak*, 441 F.3d 214, 219 (4th Cir. 2006) (interpreting the same words in Rule 13(a), the compulsory counterclaim rule); 6 WRIGHT ET AL., *supra*, §§ 1410, 1431 at 277 (stating that "the standard for asserting a cross-claim is basically the same as that for a compulsory counterclaim"). The presence of any of these factors supports a conclusion that the "transaction or occurrence" requirement is met. *See Glass v. IDS Financial Serv., Inc.*, 778 F. Supp. 1029, 1061–62 (D. Minn. 1991); 6 WRIGHT ET AL., *supra*, § 1410 at 58.

The most frequently considered factor is whether there is a logical relationship between the defendant's cross-claim and the plaintiff's original claim. 6 WRIGHT ET AL., *supra*, § 1410 at 61, 65. Here, the alleged batteries of Plaintiff and Bartender occurred in the same place, within seconds of one another. Bartender's efforts to intercede in the initial battery presumably

prompted Dave to injure Bartender. There appears to be a causal link, and thus a logical relationship, between the two claims.

In addition, the two claims involve almost identical factual and legal issues. Both Plaintiff's claim against Dave and Bartender's cross-claim against Dave are claims for battery arising under State A's law. Both claims involve factual questions about the cause and course of the fight in which Dave, Bartender, and Plaintiff were involved. Even though the factual issues may differ—whether Dave battered Plaintiff is a distinct question from whether Dave battered Bartender—the substantial overlap between the legal and factual issues supports the conclusion that the claims arise from the same transaction or occurrence. The identity-of-issues inquiry does not require a complete overlap between the claim and the cross-claim. *Id.* § 1410, at 59.

The “same evidence” test is also likely to be satisfied. To prove the battery claim against Dave, Plaintiff will need the testimony of witnesses to the brawl. It is likely that the patrons of the bar who witnessed Dave's alleged battery of Plaintiff also witnessed Dave's alleged battery of Bartender. Thus, a substantial amount of the evidence (i.e., the testimony of the witnesses to the event) will be the same.

The only factor that militates against allowing Bartender to bring a cross-claim is that a judgment on Plaintiff's claim against Dave would not preclude Bartender, who is not in privity with either Dave or Plaintiff, from suing on his own claim. Denying Bartender the ability to bring the claim would not prevent him from having his case heard at some future point. *Id.* § 1431, at 275–76. However, given that Bartender's claim against Dave is logically related to Plaintiff's claims, that it raises overlapping factual and legal issues, and that the same evidence is relevant to both claims, a court should allow Bartender's claim to be included as a cross-claim in Bartender's answer.

Point Three(a) (20%)

A federal district court would not have independent subject-matter jurisdiction over a state law cross-claim for \$20,000 between two defendants who are citizens of the same state because the claim does not arise under federal law, the claimants are not diverse, and the amount-in-controversy requirement for diversity cases is not satisfied.

The federal question statute grants the federal district courts original jurisdiction “of all civil actions arising under the Constitution, laws, or treaties of the United States.” 28 U.S.C. § 1331. A claim arises under federal law if federal law creates the cause of action. *Merrell Dow Pharms. Inc. v. Thompson*, 478 U.S. 804, 808 (1986); *Am. Well Works Co. v. Layne & Bowler Co.*, 241 U.S. 257, 260 (1916) (Holmes, J.) (“A suit arises under the law [that] creates the cause of action.”). Here, state law creates Bartender's battery claim against Dave. Under this test, Bartender's cross-claim does not arise under federal law, and therefore the court would not have jurisdiction under the federal question statute, 28 U.S.C. § 1331.

Nor would a federal court have diversity jurisdiction over Bartender's claim. First, there is no diversity. Bartender and Dave are both citizens of State A. Second, Bartender is seeking damages of only \$20,000, well below the \$75,000 jurisdictional minimum in diversity actions. *See* 28 U.S.C. § 1332(a)(1).

Point Three(b) (20%)

A federal district court would have supplemental subject-matter jurisdiction over a state law cross-claim for \$20,000 between citizens of the same state as long as it is so related to the

plaintiff's claim against the defendants, of which the court has original jurisdiction, that the claims form part of the "same case or controversy" under Article III of the Constitution.

In the instant case, the federal district court has original diversity jurisdiction over Plaintiff's claims against Bartender and Dave. 28 U.S.C. § 1332. Each claim is for an amount in excess of \$75,000, and Plaintiff, a citizen of State B, is diverse from both defendants, who are citizens of State A.

The supplemental jurisdiction statute permits federal district courts that have original jurisdiction of a civil action to assert "supplemental jurisdiction over all other claims that are so related to claims in the action within such original jurisdiction that they form part of the same case or controversy under Article III of the United States Constitution." 28 U.S.C. § 1367(a). Claims form part of the "same case or controversy" under Article III if they "derive from a common nucleus of operative fact." *United Mine Workers of America v. Gibbs*, 383 U.S. 715, 725 (1966). Cross-claims that satisfy Rule 13(g)'s "transaction or occurrence" test presumptively satisfy the *Gibbs* "common nucleus of operative fact" test and are within the court's supplemental jurisdiction. 13 WRIGHT ET AL., *supra*, § 3523, at 165–73. As noted in Point One, Bartender's claim and Plaintiff's claims arise out of the same occurrence, raise many of the same factual and legal issues, and will be proved, in part, by the same evidence. These claims clearly arise out of a "common nucleus of operative fact"—the bar fight that gave rise to all the claims in the case.

Because Bartender's claim is part of the "same case or controversy" as Plaintiff's original claims, it falls within the federal court's supplemental jurisdiction.

DECEDENTS' ESTATES ANALYSIS

(Decedents' Estates II.A.4., D., I.1. & 9., K.4.)

ANALYSIS

Legal Problems

- (1) Was Testator's will validly executed?
- (2) Should the life insurance proceeds be distributed to Niece or Cousin?
- (3) Does the handwritten memorandum found in Testator's safe-deposit box determine the disposition of Testator's jewelry?
- (4) Did the bequest to Husband lapse?
- (5) How should the general bequests in Testator's will abate?

DISCUSSION

Summary

Testator's will is valid and should be admitted to probate because Testator complied with the statutory requirements in executing the will. Testator's life insurance proceeds will probably go to Niece because life insurance contracts almost always disallow alteration of a beneficiary designation in a life insurance contract by will, and most states have upheld such contractual requirements. Testator's jewelry will probably go to Niece because the memorandum describing the gift to Niece preexisted Testator's will and thus was incorporated by reference into Testator's will. The gift of \$40,000 to Husband lapsed because he predeceased Testator, and bequests to spouses are not typically saved from lapse by an antilapse statute. It is irrelevant that Husband had a child who survived Testator. The general bequests of \$25,000 each to Church, Library, and School must be abated because there are insufficient funds (\$60,000) to pay these bequests. Because there are no indications in the will specifying a different abatement scheme, Church, Library, and School will take equal shares (i.e., \$20,000) of Testator's bank account. As a result of the abatement, nothing remains in the estate to pass to Son. Niece need not contribute to those general bequests because life insurance proceeds are nonprobate assets not governed by the will. Furthermore, the devise of items listed in a memorandum was specific, and specific devises are the last to abate.

Point One (20%)

Because Testator complied with the statutory execution requirements, her will is valid.

Here, state law disallows "all holographic wills and codicils." A holographic will is an unwitnessed will in a testator's handwriting. Testator's will was not holographic even though written in the testator's hand because it was signed and witnessed.

State law does provide that a will is not valid unless it is “acknowledged by the testator to the witnesses and signed by the testator in the presence of at least two attesting witnesses, who shall sign their names below that of the testator within 30 days.” Testator signed her will in the presence of three witnesses who, on the same day, signed their names below hers. Testator acknowledged the instrument to be her will when she stated, “This is my will. I would like each of you to witness it.” Therefore, Testator’s will is valid because its execution complied with the law of the state.

Point Two (20%)

Niece will probably take Testator’s life insurance because, in most states, Testator could not change her life insurance beneficiary except as specified in her life insurance contract.

If an insured dies while a life insurance policy is in effect, the policy proceeds are payable to the named beneficiary. Although the owner of a life insurance policy typically retains the right to change the named beneficiary without obtaining that beneficiary’s consent, the owner must do so in accordance with procedures specified in the life insurance contract.

Life insurance contracts almost never permit a change of beneficiary by will, and courts have almost invariably upheld such restrictions. See ROBERT J. LYNN & GRAYSON M.P. MCCOUCH, INTRODUCTION TO ESTATE PLANNING IN A NUTSHELL 131–32 (5th ed. 2004); *Cook v. Equitable Life Assurance Society*, 428 N.E.2d 110 (Ind. Ct. App. 1981). Courts have sometimes found that a beneficiary change that does not comply with the terms of the insurance contract is valid if the policyholder has “substantially complied” with the contract by taking all reasonable steps within his or her power to make the change in accordance with the contract terms. See LYNN & MCCOUCH, *supra*, at 131–32. Courts in a few states have also upheld a change of beneficiary by will. See, e.g., *Burkett v. Mott*, 733 P.2d 673 (Ariz. Ct. App. 1986) (relying on insurance company’s failure to object); *Connecticut Gen. Life Ins. Co. v. Peterson*, 442 F. Supp. 533 (W.D. Mo. 1978).

Here, Testator attempted to change the beneficiary of her policy by naming Cousin as the beneficiary in her will. Assuming that Testator had a standard life insurance contract, such a change would be disallowed. There is nothing in the facts to show that Testator made any attempt to comply with the formalities required by the insurance contract. Thus, unless this state follows the minority approach, Niece, the named beneficiary in the policy, will take the policy proceeds.

Point Three (20%)

Niece will probably take Testator’s jewelry because, in most states, the memorandum describing the bequest was incorporated by reference into Testator’s will.

In most jurisdictions, a writing that exists at the time a will is executed may be incorporated by reference into the will. The will must describe the writing with sufficient particularity that it can be identified, but the writing need not be witnessed or executed with testamentary formalities. See LYNN & MCCOUCH, *supra*, at 183–84; UNIF. PROBATE CODE § 2-510.

Here, the memorandum describing the bequest of jewelry to Niece is clearly identified in Testator’s will, and it was found in the location described by Testator. The memorandum is dated on the day before Testator’s will was executed, so it qualifies as a document that can be incorporated by reference. Thus, assuming that this state follows the approach of the

overwhelming majority of states and allows incorporation by reference, Niece will take the jewelry.

In addition, some states recognize the right of a testator to dispose of tangible personal property by a signed memorandum, whether prepared before or after the execution of the will, even though it is not executed with the formalities required of wills. *See, e.g.*, Iowa Code § 633.276; UNIF. PROBATE CODE § 2-513.

[NOTE: The difference between UPC § 2-513 and the incorporation-by-reference doctrine is that the former allows a testator to dispose of tangible personal property by a signed memorandum executed both before and after the will was signed. Under the incorporation-by-reference doctrine, the memorandum must be in existence at the time the will is executed.]

Point Four (20%)

The bequest to Husband lapsed because he predeceased Testator. Under the typical antilapse statute, the bequest to Husband would not be saved from lapse even though he left issue who survived Testator.

If a beneficiary does not survive the testator, the bequest lapses and falls into the residue of the estate. Under the common law, lapse occurred whenever a beneficiary predeceased the testator and the testator specified no alternate disposition of the assets in question. A lapsed bequest passes into the residue of the testator's estate. *See* WILLIAM M. MCGOVERN, JR. & SHELDON F. KURTZ, WILLS, TRUSTS AND ESTATES 328–29 (3d ed. 2001).

Today, all states have antilapse statutes. Under a typical antilapse statute, if a beneficiary dies before the testator and the beneficiary was both related by blood to the testator within a certain degree of relationship and had issue who survived the testator, the bequest to the deceased beneficiary is saved from lapse and the deceased beneficiary's issue takes in lieu of the deceased beneficiary. *See, e.g.*, UNIF. PROBATE CODE § 2-603.

The typical antilapse statute, therefore, would not save a bequest to a spouse even if the spouse predeceased the testator leaving issue who survived the testator. *Id.*

Thus, the \$40,000 bequest to Husband lapses and passes into the residuary estate.

[NOTE: In New Hampshire and Kansas the result differs, because their antilapse statutes would apply to Husband. In those states, his share would pass to his daughter.]

Point Five (20%)

Testator's general legacies must be abated because there are insufficient assets to pay all named beneficiaries. Under standard abatement principles, Son will receive nothing and Library, Church, and School will receive equal, pro rata general bequests. Niece will take the jewelry because specific devises abate last. She also will take the life insurance because it passes outside the will.

When the assets of a testator's estate are insufficient to pay all of the bequests payable under the testator's will, these bequests are reduced, or abated. Under the common law and in most states, unless the testator specifies a different abatement scheme, testamentary bequests abate in the following order: (1) residuary bequests, (2) general bequests (i.e., bequests of a fixed dollar amount), and (3) specific bequests (i.e., identifiable property such as "my jewelry"). Abatement within each category is pro rata. *See* UNIF. PROBATE CODE § 3-902; LYNN & MCCOUCH, *supra*, at 47–48.

Here, there are insufficient assets in Testator's estate to pay the bequests made under her will, and Testator specified no abatement scheme. Thus, the residuary bequest to Son abates first; Son will receive nothing. The general bequests to Church, Library, and School, totaling \$75,000, abate next and pro rata as each of them was bequeathed \$25,000. Thus, Church, Library, and School will each receive \$20,000 from the available \$60,000. Niece need not contribute because the bequest of jewelry is a specific devise and, assuming this state follows the majority view, the life insurance is a nonprobate asset that will not be taken into account when abating the testamentary bequests. *See* UNIF. PROBATE CODE § 3-902.

[NOTE: If Husband's daughter is entitled to the \$40,000 bequest to Husband, there will be \$115,000 of general legacies to abate proportionally when distributing the \$60,000.]

July 2011 MEE

► *QUESTIONS*

Secured Transactions
Criminal Law and Procedure
Trusts
Real Property
Federal Civil Procedure
Family Law/Conflict of Laws
Negotiable Instruments (Commercial Paper)
Constitutional Law
Agency and Partnership

SECURED TRANSACTIONS QUESTION

Decorator operates a business that sells decorative items for the office. Eight months ago, Decorator borrowed \$10,000 from Lender and, pursuant to a properly completed and signed security agreement, granted Lender a security interest in all of Decorator's present and future inventory and equipment to secure that indebtedness. Lender filed a properly completed financing statement on the same day that the loan was made and the security agreement was signed.

Seven months ago, Clockwork and Decorator entered into a signed agreement pursuant to which Decorator bought and received delivery of 25 decorative clocks from Clockwork for resale to Decorator's customers. Under the terms of the agreement, Decorator agreed to pay the \$2,500 purchase price in six months. The agreement also provides that, until the payment of the purchase price to Clockwork by Decorator, title to the clocks will be retained by Clockwork. No financing statement was filed in conjunction with this transaction.

Three months ago, Decorator leased an industrial vacuum cleaner from Vac for use in Decorator's business. The lease, which was signed by both parties, provides that, at the end of the four-year lease term (which cannot be terminated early), Decorator will automatically become the owner of the vacuum cleaner so long as all monthly payments have been made. No financing statement was filed in conjunction with this transaction.

Decorator has defaulted on all obligations to Lender, Clockwork, and Vac. Your law firm represents Lender, who has asked the following questions:

1. Who has a superior interest in the clocks? Explain.
2. Who has a superior interest in the vacuum cleaner? Explain.

CRIMINAL LAW AND PROCEDURE QUESTION

A police officer (Officer) on routine traffic patrol watched Suspect drive by. Suspect was in compliance with all applicable traffic laws except the state seat belt law. The state motor vehicle code provides that police officers have discretion to make an arrest for any traffic infraction, including violation of the state seat belt law. Officer had never stopped a driver merely for violating the seat belt law. However, Officer knew that Suspect was a reputed drug dealer and stopped Suspect's vehicle, hoping to uncover evidence of a more serious crime.

Officer directed Suspect to get out of his vehicle, handcuffed Suspect, and told Suspect that he was under arrest for violating the seat belt law. Immediately afterward, Officer looked through the driver's-side car window and noticed a clear plastic bag containing white powder on the front seat of Suspect's car. Officer asked Suspect, "Are those drugs yours?" Suspect responded, "No, that cocaine isn't mine!" Officer then opened the car door and removed the bag of white powder.

Officer transported Suspect to the police station for booking. An hour later, Detective visited Suspect in the police station holding cell to attempt an interview. Detective read Suspect his *Miranda* rights. Suspect stated that he understood his *Miranda* rights but nonetheless would answer Detective's questions. Suspect voluntarily answered Detective's questions for about five minutes and then said, "I'm not sure about this. Maybe I need a lawyer." Detective did not seek clarification of Suspect's statement but continued to question Suspect, who ultimately confessed to possessing the cocaine found in his car.

The state charged Suspect with misdemeanor violation of the seat belt law and felony drug possession. Suspect has moved to suppress all the state's evidence, alleging an unlawful stop, an unlawful arrest, an unlawful seizure of evidence, and multiple *Miranda* violations.

1. Did the traffic stop and subsequent arrest violate Suspect's constitutional rights? Explain.
2. Did Officer's seizure of evidence from Suspect's car violate Suspect's constitutional rights? Explain.
3. Did Officer's questioning of Suspect violate Suspect's *Miranda* rights? Explain.
4. Should Suspect's confession to Detective be suppressed? Explain.

TRUSTS QUESTION

Forty years ago, Testator executed a valid will under which he devised his home to the trustee of a trust. Testator's will directed the trustee to

retain the home to ensure that my Daughter has a comfortable residence throughout her life. The home shall not be sold until Daughter dies. After Daughter's death, I direct the trustee to sell the home and to distribute the sale proceeds to Charity, a charitable corporation organized to end homelessness in Capital City.

Thirty years ago, Testator died. At the time of his death, Testator still owned the home, which was located in Capital City in a quiet residential neighborhood of single-family homes near both a local college and the city's business district. The business district was commercially successful, but it had attracted a large number of homeless people.

During the last 30 years, the character of the neighborhood where the home is located has changed dramatically. Many apartment buildings have been built, greatly increasing population density and noise. Several bars and restaurants catering to college students have also opened in the formerly residential blocks near the home. Stores in the city's business district have moved to suburban shopping malls, and the vacated buildings have been converted to bars and dance clubs. This shift has increased public rowdiness, but it has also been associated with a marked decline in the number of homeless individuals in the business district.

Daughter recently decided that she wants to move from the home to a rental apartment in a quieter and less congested neighborhood. Daughter consulted a real estate agent, who correctly told her that the home is worth about \$300,000 and will easily sell for that amount.

Daughter asked the trustee to sell the home, to hold the expected sale proceeds of \$300,000 in trust, and to use the proceeds and the income to pay Daughter's rent, which will be about \$2,000 per month. The monthly income from the \$300,000 trust, however, is expected to be only \$1,000.

When the trustee attempted to contact Charity to discuss Daughter's request, he discovered that Charity no longer exists.

The trustee has consulted the law firm where you work for advice on these questions:

1. Can the terms of Testator's testamentary trust be reformed to permit the sale of the home? Explain.
2. Assuming that the trust can be reformed to permit the sale of the home, can the trustee also obtain authorization to use the sale proceeds and the earnings thereon to pay Daughter's rent? Explain.
3. After Daughter's death, will the trust assets pass to Testator's estate? Explain.

REAL PROPERTY QUESTION

In 1980, Oscar sold undeveloped land that he owned in fee simple to Sam, but Sam failed to record the deed.

In 1985, Sam granted Railroad an easement to operate a rail line across a portion of the land to serve a grain storage facility located on a neighboring tract of land. Railroad recorded this easement, laid railroad tracks on the land, and operated trains weekly until the grain storage facility went out of business in 2000. The tracks are still in place and clearly visible, but no trains have operated over them since 2000.

In 1990, Sam conveyed the land to Daughter as a graduation gift. Daughter promptly recorded the deed given to her by Sam. Except for the railroad tracks, the land has remained undeveloped.

Oscar died six months ago. Unaware of the prior transactions, the executor of Oscar's estate sold the land to Purchaser for its fair market value. Purchaser was also unaware of these prior transactions. The executor gave Purchaser a quitclaim deed to the land. Purchaser promptly recorded this deed.

The state in which the land is located maintains its records under a grantor-grantee indexing system, and the state's recording act provides: "No conveyance or mortgage of real property shall be good against subsequent purchasers for value and without notice unless the same be recorded according to law."

What are the rights, if any, of Purchaser, Daughter, and Railroad in the land? Explain.

FEDERAL CIVIL PROCEDURE QUESTION

OfficeEquip is a U.S. distributor of office machines. It is incorporated in State A, where it has its principal place of business. BritCo is a manufacturer of copiers. It is incorporated in Scotland and has its principal place of business in London, England. OfficeEquip sued BritCo, alleging that BritCo had breached a long-term contract to supply copiers to OfficeEquip.

The suit was filed in the United States District Court for State A, and OfficeEquip properly invoked the court's diversity (alienage) jurisdiction.

BritCo made a timely motion to dismiss the complaint on the ground that it was filed in violation of a forum-selection clause in the supply contract that required all contract disputes to be adjudicated in London. While its motion to dismiss was pending, BritCo filed an answer to the complaint.

In its answer, BritCo denied breaching the supply contract. BritCo also made a counterclaim seeking damages for OfficeEquip's alleged breach of a contractual covenant not to compete with BritCo.

OfficeEquip filed a motion for judgment on the pleadings on BritCo's counterclaim, arguing that the covenant not to compete was unenforceable as a matter of law.

After a short period of discovery, the district judge issued the following two orders:

OfficeEquip's motion for judgment on the pleadings is granted. The contractual covenant not to compete is void as a matter of public policy and is therefore unenforceable. Given that this is strictly a legal issue and entirely severable from OfficeEquip's breach of contract claim, there is no just reason for delay, and I accordingly direct that judgment should be entered in favor of OfficeEquip on BritCo's counterclaim.

BritCo's motion to dismiss is denied. Enforcement of the forum-selection clause would be unreasonable in this case. OfficeEquip has never done business in London, and it would be extremely inconvenient for it to litigate there.

Trial on the breach of contract claim is scheduled in three months.

1. Can BritCo immediately appeal the district court's order granting OfficeEquip's motion for judgment on the pleadings with respect to BritCo's counterclaim? Explain.
2. Can BritCo immediately appeal the district court's order denying its motion to dismiss? Explain.

FAMILY LAW/CONFLICT OF LAWS QUESTION

Dave and Meg lived in State A. Three years ago, they began dating. Two years ago, Meg became pregnant with their child. Shortly thereafter, Dave and Meg discussed marriage. Dave told Meg, "Perhaps we should get married if we're going to have a child." Meg told Dave, "I am committed to marrying you, but I want a real wedding, and we can't afford that now." Meg proposed that Dave move in with her so that "we can save money to get married." Dave agreed and began living in Meg's rented apartment. Meg did not tell her landlord about Dave. She did tell her family and friends that "Dave, my fiancé, has moved in."

Fifteen months ago, Meg gave birth to Child. Meg and Dave agreed that Child's birth certificate would identify Dave as Child's father. Meg and Dave sent birth announcements to friends and relatives noting the birth of "our son, Child." After Child's birth, Meg quit work. Dave took on a second job in order to support Meg and Child.

Five months ago, Meg took Child and abruptly left Dave. Dave hired a private investigator to find Meg and Child. The investigator recently discovered that they are living in State B with Husband, whom Meg married three months ago. The investigator also discovered that Meg and Husband have filed a petition to terminate Dave's parental rights and authorize Husband's adoption of Child.

State B permits a mother or a married father to veto the adoption of his or her child unless he or she "has willfully refused to support said child for a period of one or more years."

State B permits an unmarried father to veto the adoption of his child only if he (a) "has consistently supported such child" and (b) "has maintained a residential relationship with such child for at least 9 of the 12 months immediately preceding the filing of an adoption petition."

State B does not have a putative father registry.

State A recognizes common law marriage. State B does not. Both State A and State B have adopted the Uniform Child Custody Jurisdiction and Enforcement Act (UCCJEA).

1. Will State B recognize a common law marriage contracted in State A? Explain.
2. Did Dave and Meg enter into a common law marriage in State A? Explain.
3. Assuming that Dave is an unmarried father, can State B constitutionally grant Meg and Husband's adoption petition over Dave's opposition? Explain.
4. Does the UCCJEA permit State B to terminate Dave's parental rights or issue an order awarding custody of Child to Meg? Explain.

NEGOTIABLE INSTRUMENTS (COMMERCIAL PAPER) QUESTION

Supplier sold Manufacturer some raw materials to be used in its manufacturing business. In payment for those raw materials, Manufacturer sent Supplier a check for \$10,000 payable to the order of Supplier. The check was drawn on Manufacturer's checking account at Bank.

Supplier then used the check to buy a diamond ring from Jeweler. Before giving the check to Jeweler in exchange for the ring, Supplier indorsed the check by writing "Pay to Jeweler" and signing his name on the back of the check. Shortly after this exchange took place, Jeweler's store was robbed by a thief, who took Jeweler's cash box containing the check.

The thief forged Jeweler's signature underneath Supplier's signature and gave the check to Checkco, a check cashing company, in exchange for \$8,000 in cash. Checkco took the check with neither knowledge nor notice of the history of the check. Immediately after obtaining the \$8,000, the thief disappeared and cannot be found.

Checkco then presented the check to Bank, which paid the check and debited Manufacturer's account for \$10,000. After the check was paid, Jeweler informed Manufacturer about the theft of the check and Manufacturer, in turn, informed Bank. After investigation, Bank discovered the forgery of Jeweler's signature. Accordingly, Bank reccredited the account because, under its account agreement with Manufacturer, it was obligated to do so because Jeweler's signature was forged.

1. What rights, if any, does Bank have against Checkco with respect to the check? Explain.
2. Assuming that Bank is able to recover its loss from Checkco, what rights, if any, does Checkco have against Jeweler and Supplier with respect to the check? Explain.

CONSTITUTIONAL LAW QUESTION

There are two nursing schools in State A: Public Nursing School (Public) and Private Nursing School (Private). Public is an agency of the state government, and all its faculty and staff are state employees. Private is owned by a private corporation and receives no direct funding from the state. The State A Board of Education regulates the curriculum of each nursing school and certifies all graduates of the two nursing schools as eligible to become licensed nurses in State A.

Both Public and Private have a long-standing policy of restricting admission to women. Neither school has ever admitted a male applicant. There has been general discrimination against women in State A in the health care field. Historically, however, 95 percent of State A nurses have been female.

A male resident of State A wants to be a nurse. The man first applied to Private and was denied admission. His rejection letter from Private stated that he was “not eligible to enroll because Private was established as an all-female institution and does not admit or enroll male students.”

The man next applied to Public and was again denied admission. His letter from Public stated that “you are not eligible to enroll because Public does not enroll male students. Mindful of the historical discrimination that women have faced in State A, our state has established Public to remedy this discrimination and provide opportunities for women who want to work in the growing field of health care as nurses.” The letter continued, “Because your grades and test scores would have been sufficient to admit you if you were female, we offer you admission to our new Male Nursing Opportunity Program instead.”

The Male Nursing Opportunity Program allows male residents of State A to become nurses by studying at a nursing school in an adjacent state. Graduates of the program are certified by the State A Board of Education as eligible to become licensed nurses in State A. However, the Male Nursing Opportunity Program facilities are not as modern as those at Public, the faculty is not as experienced, and graduates of the Male Nursing Opportunity Program do not enjoy the same employment opportunities as graduates of either Public or Private.

1. Has Private violated the man’s rights under the Equal Protection Clause of the Fourteenth Amendment? Explain.
2. Has Public violated the man’s rights under the Equal Protection Clause of the Fourteenth Amendment? Explain.

AGENCY AND PARTNERSHIP QUESTION

Portable Shredder Services (PSS) is a partnership that operates a mobile shredding business. When a client needs paper shredded, PSS sends a truck and a crew to perform the operation.

Adam, Beth, and Chris are partners in PSS. Each of them contributed \$50,000 in start-up capital, and each actively works in the business.

The PSS partnership agreement provides in relevant part that (1) each partner is required to devote substantially all of the partner's working efforts to the business and (2) any partner can withdraw from the partnership upon giving six months' written notice. The partnership agreement contains no other relevant provisions modifying any of the statutory default rules.

PSS has not been profitable. Adam is convinced that the assets of PSS are worth more than the value of the business as a going concern. He believes that the only way he can receive a fair price for his share of partnership assets is if those assets are sold. Beth and Chris, on the other hand, wish to continue operating the business, if they can.

Adam would like to withdraw immediately from the partnership in order to force Beth and Chris to cease the operations of PSS immediately and sell the partnership's assets.

Adam has asked your law firm to answer the following three questions:

1. If Adam immediately withdraws from the partnership, what will be the consequences (a) to him and (b) to the partnership? Explain.
2. If Adam gives six months' written notice before withdrawing from the partnership, what will be the consequences (a) to him and (b) to the partnership? Explain.
3. If the partnership's business is wound up after Adam's withdrawal, will he be liable for partnership debts incurred during the winding-up process after his withdrawal? Explain.

July 2011 MEE

► *ANALYSES*

Secured Transactions

Criminal Law and Procedure

Trusts

Real Property

Federal Civil Procedure

Family Law/Conflict of Laws

Negotiable Instruments (Commercial Paper)

Constitutional Law

Agency and Partnership

SECURED TRANSACTIONS ANALYSIS

(Secured Transactions I.B.; II.C.; III.B. & C.; IV.A. & B.)

ANALYSIS

Legal Problems

- (1) What interest does Clockwork have in the clocks?
- (2) Does Lender have an interest in the clocks?
- (3) Whose interest in the clocks—Clockwork's or Lender's—has priority?
- (4) What interest does Vac have in the vacuum cleaner?
- (5) Does Lender have an interest in the vacuum cleaner?
- (6) Whose interest in the vacuum cleaner—Vac's or Lender's—has priority?

DISCUSSION

Summary

Clockwork's interest in the clocks is a security interest governed by Article 9 of the UCC. Because Clockwork did not file a financing statement with respect to its security interest in the clocks, its security interest is unperfected. The clocks are inventory of Decorator, so Lender also has a security interest in them. That interest was perfected when Lender filed a financing statement covering it. Lender's perfected security interest has priority over Clockwork's unperfected interest.

Vac's interest in the vacuum cleaner, although presented as a lease, is a security interest governed by Article 9 of the UCC. Because Vac did not file a financing statement with respect to its interest in the vacuum cleaner, its security interest is unperfected. The vacuum cleaner is equipment of Decorator, so Lender has a security interest in it. Because Lender filed a financing statement, Lender's security interest in the vacuum cleaner is perfected. Unperfected security interests are subordinate to perfected security interests, so Lender's security interest has priority over Vac's.

Point One (25%)

Clockwork has an unperfected security interest in the clocks.

The agreement between Clockwork and Decorator provides that Clockwork retains title to the clocks until their purchase price is paid. Under the Uniform Commercial Code, the substance of a transaction controls, rather than its form or the label given to it by the parties. Because Clockwork's interest exists to secure performance of Decorator's payment obligation, it is a security interest even though the parties did not label it as such. *See* UCC § 1-201(b)(35) [§ 1-201(37) in states that have not enacted revised Article 1 of the UCC].

Because the Clockwork-Decorator transaction created a security interest by contract, it is governed by Article 9 of the Uniform Commercial Code. UCC § 9-109(a)(1). The signed agreement between Clockwork and Decorator is sufficient to create an enforceable and attached security interest because value has been given to Decorator (the extension of credit), Decorator has rights in the clocks, and the agreement between them, providing for Clockwork's retained interest in the clocks, was signed by Decorator. *See* UCC § 9-203. However, in order for Clockwork's security interest to be perfected, Clockwork would need to either have possession of the clocks or file a financing statement with respect to the security interest. *See* UCC § 9-308 *et seq.* Clockwork's security interest in the clocks is not perfected because Clockwork neither filed a financing statement with respect to its security interest nor retained or took possession of the clocks.

[NOTE: An examinee might state that Clockwork's security interest is a purchase-money security interest and, therefore, perfected upon attachment without the necessity of filing a financing statement. This is incorrect. Only purchase-money security interests in *consumer goods* are perfected upon attachment without the filing of a financing statement. *See* UCC § 9-309(1). While Clockwork's security interest is a purchase-money security interest (*see* UCC § 9-103), the clocks do not constitute "consumer goods" in the hands of Decorator because the clocks are being held for sale to Decorator's customers and were not used or bought for Decorator's personal, family, or household purposes. *See* UCC § 9-102(a)(23).]

Point Two (10%)

Lender has a perfected security interest in the clocks.

Pursuant to its agreement with Decorator, Lender was granted a security interest in all Decorator's present and future inventory. Because the clocks are being held by Decorator for resale to its customers, they are inventory. *See* UCC § 9-102(a)(48). The security interest with respect to each clock that Decorator has or subsequently acquires is enforceable and attached because value has been given, Decorator has rights in the clocks, and Decorator has signed the security agreement. *See* UCC § 9-203. The after-acquired property clause is made enforceable by UCC § 9-204. The security interest is perfected because Lender filed a properly completed financing statement with respect to the security interest. *See* UCC §§ 9-308, 9-310.

Point Three (15%)

Lender's security interest in the clocks is superior to that of Clockwork.

While both Clockwork and Lender have security interests in the clocks, only Lender's security interest is perfected. (*See* Points One and Two.) Lender's security interest has priority over that of Clockwork because a perfected security interest is superior to an unperfected security interest in the same property. *See* UCC §§ 9-317(a)(1) and 9-322(a)(2).

[NOTE: An examinee might state that Clockwork's security interest has priority under UCC § 9-324 because it is a purchase-money security interest. This is incorrect. While Clockwork's security interest is a purchase-money security interest (*see* UCC § 9-103), § 9-324 gives priority only to certain *perfected* purchase-money security interests and Clockwork's security interest is unperfected.]

Point Four (25%)

Vac has an unperfected security interest in the vacuum cleaner.

The agreement between Vac and Decorator is presented as a lease. However, the UCC recognizes that the transaction is economically equivalent to a secured sale because Decorator will automatically become the owner of the vacuum cleaner after making all of the lease payments. Accordingly, the interest of Vac is a “security interest.” *See* UCC § 1-203 [§ 1-201(37) in states that have not enacted revised Article 1 of the UCC]. Thus, the Vac-Decorator transaction is governed by Article 9 of the Uniform Commercial Code. UCC § 9-109(a)(1). The signed agreement between Vac and Decorator is sufficient to create an enforceable and attached security interest because value has been given to Decorator, Decorator has rights in the vacuum cleaner, and the agreement was signed by Decorator. *See* UCC § 9-203. However, in order for Vac’s security interest to be perfected, Vac would need to retain or take possession of the vacuum cleaner or file a financing statement with respect to the security interest. *See* UCC §§ 9-308 *et seq.* Because Vac neither filed a financing statement with respect to its security interest nor retained or took possession of the vacuum cleaner, Vac’s security interest in the vacuum cleaner is not perfected.

Point Five (10%)

Lender has a perfected security interest in the vacuum cleaner.

Pursuant to its agreement with Decorator, Lender was granted a security interest in all of Decorator’s present and future equipment. Because the vacuum cleaner is used by Decorator in its business and is not inventory, farm products, or consumer goods, it constitutes equipment. *See* UCC § 9-102(a)(33). The security interest with respect to the vacuum cleaner is enforceable and attached because value has been given, Decorator has rights in the vacuum cleaner, and Decorator has signed the security agreement. *See* UCC §§ 9-203 & 9-204. Therefore, Lender’s security interest attaches to the vacuum cleaner. The security interest is perfected because Lender filed a properly completed financing statement with respect to the security interest in inventory and equipment. *See* UCC §§ 9-308, 9-310.

Point Six (15%)

Lender’s security interest in the vacuum cleaner is superior to that of Vac.

While both Vac and Lender have security interests in the vacuum cleaner, only Lender’s security interest is perfected. (*See* Points Four and Five.) Lender’s security interest has priority over that of Vac because a perfected security interest is superior to an unperfected security interest in the same property. *See* UCC §§ 9-317(a)(1) & 9-322(a)(2).

CRIMINAL LAW AND PROCEDURE ANALYSIS

(Criminal Law and Procedure V.A., B. & D.)

ANALYSIS

Legal Problems

- (1) Was it constitutional for Officer to stop and arrest Suspect for a petty traffic offense when Officer's real motive was to find evidence of other crimes?
- (2) Was it constitutional for Officer to seize evidence from Suspect's car?
- (3) Did Officer's questioning of Suspect violate Suspect's rights under *Miranda*?
- (4)(a) Did Officer's questioning of Suspect make Detective's subsequent interrogation of Suspect unconstitutional?
- (4)(b) Was Suspect's ambiguous statement regarding a lawyer sufficient to invoke Suspect's right to an attorney and to require Detective to cease interrogation?

DISCUSSION

Summary

Officer had probable cause to believe that Suspect was violating traffic laws based on his own observations of Suspect. Officer therefore acted constitutionally in stopping and arresting Suspect. The stop and the subsequent arrest are constitutional despite the fact that the traffic infraction was minor, Officer had never previously arrested anyone for a seat belt violation, and Officer had another motive for making the stop.

It was also lawful for Officer to engage in a "plain view" search of the front seat of Suspect's car by looking into the window after the arrest of Suspect.

Officer violated Suspect's constitutional rights by interrogating Suspect at the scene after arresting him without first providing *Miranda* warnings and obtaining a valid waiver. Thus, Suspect's responsive statement to Officer at the scene is inadmissible. However, Officer's *Miranda* violation does not make Suspect's subsequent interrogation by Detective unconstitutional. A violation of *Miranda* does not taint derivative evidence (e.g., Suspect's statement made during the second interrogation). Moreover, Detective's second interrogation was a separate interrogation that involved a change in time, place, and circumstance. Prior to Detective's second interrogation, *Miranda* warnings were given and a knowing and valid waiver was obtained. Suspect's equivocal and ambiguous statement about possibly needing a lawyer was not an invocation by Suspect of his *Miranda* right to silence, so Detective did not need to cease his interrogation and provide Suspect with an attorney.

Point One (25%)

A traffic stop and arrest with probable cause does not violate the Fourth Amendment even if the offense was minor and the stop served as a pretext for investigating other criminal wrongdoing.

Under the Fourth Amendment, the constitutional reasonableness of a traffic stop does not depend on the motivation of the officer involved or the petty nature of the offense charged, as long as state law permits an arrest. *See Whren v. United States*, 517 U.S. 806, 810 (1996) (“As a general matter, the decision to stop an automobile is reasonable where the police have probable cause to believe that a traffic violation has occurred.”). If the officer has probable cause to believe that a suspect has committed an offense, then a stop and arrest of that suspect is reasonable if authorized under the applicable state statute. *See Atwater v. City of Lago Vista*, 532 U.S. 318, 354 (2001) (“If an officer has probable cause to believe that an individual has committed even a very minor criminal offense in his presence, he may, without violating the Fourth Amendment, arrest the offender.”).

Here, the arrest was constitutional because Officer had probable cause, based on his personal observations, to believe that Suspect was committing a traffic violation and the state seat belt statute permitted arrest. The stop and subsequent arrest were constitutional despite the fact that the traffic infraction was minor and Officer had never previously arrested anyone for a seat belt violation. In addition, the stop and arrest were constitutional even if Officer used the seat belt violation as a pretext to investigate criminal wrongdoing based on Officer’s knowledge that Suspect was a reputed drug dealer. *Whren*, 517 U.S. at 813–14.

Point Two (25%)

Officer’s seizure of evidence from the front seat of Suspect’s car did not violate the Fourth Amendment.

Under the Fourth Amendment, a police officer is lawfully permitted to seize evidence without a warrant if the evidence is found in plain view during lawful observation. *See Coolidge v. New Hampshire*, 403 U.S. 443, 465 (1971) (“It is well established that under certain circumstances the police may seize evidence in plain view without a warrant.”). Under the plain view doctrine, “if police are lawfully in a position from which they view an object, if its incriminating character is immediately apparent, and if the officers have a lawful right of access to the object, they may seize it without a warrant.” *Minnesota v. Dickerson*, 508 U.S. 366, 375 (1993).

In this case, Officer had probable cause to stop and arrest Suspect for a traffic law violation based on his own observation of Suspect’s violation of the seat belt law. Following the arrest, Officer was lawfully permitted to look into the car window while the car was stopped on a public road. Officer had probable cause to believe that white powder contained in a clear plastic bag in the car of a reputed drug dealer is likely to be an illegal drug, and Officer had additional cause to support that belief after Suspect stated, “That cocaine isn’t mine,” in response to Officer’s question about the bag. The fact that Suspect’s statement is inadmissible, *see* Point Four(a), does not prevent Officer from relying on the statement to establish probable cause. The lawful access requirement “guard[s] against warrantless entry onto premises whenever contraband is viewed from off the premises . . . but does not bar the seizure of evidence in a parked car” that is observed by an officer who is viewing contraband from a lawful vantage point. *Boone v. Spurgess*, 385 F.3d 923 (6th Cir. 2004). *See also United States v. Gillon*, 348 F.3d 755, 759–60 (8th Cir. 2003) (once officers saw “what appeared to be bags containing crack cocaine” in a parked car “they had a right of access to the passenger compartment of the car” to seize the likely contraband). *Cf. United States v. Ross*, 456 U.S. 798 (1982) (police officers who have probable cause to believe a vehicle contains contraband had lawful right to enter and search vehicle and seize contraband found therein).

Point Three (15%)

Officer violated Suspect's *Miranda* rights when Officer arrested Suspect and interrogated him without providing *Miranda* warnings and obtaining a valid waiver.

A person under arrest is in custody and must first receive *Miranda* warnings before being subjected to interrogation. *Miranda v. Arizona*, 384 U.S. 436, 444 (1966) (Prior to any questioning, a person under arrest “must be warned that he has a right to remain silent, that any statement he does make may be used as evidence against him, and that he has a right to the presence of an attorney, either retained or appointed.”). Here, Officer arrested Suspect and then interrogated Suspect, asking him “Are these drugs yours?” without first providing *Miranda* warnings. This custodial interrogation involved express questioning of Suspect by Officer that violated Suspect's *Miranda* rights. *See Rhode Island v. Innis*, 446 U.S. 291, 300–01 (1980) (“[T]he *Miranda* safeguards come into play whenever a person in custody is subjected to either express questioning or its functional equivalent.”).

Point Four(a) (25%)

Officer's *Miranda* violation did not taint Detective's subsequent interrogation.

Statements taken during custodial interrogations conducted in violation of *Miranda* are excluded from the prosecution's case-in-chief. However, a violation of *Miranda* is a violation of a constitutional “rule,” *see Dickerson v. United States*, 530 U.S. 428, 444 (2000), not a direct violation of the constitution. Unlike direct violations of the constitution, *Miranda* violations do not taint derivative evidence and the “fruit of the poisonous tree” doctrine does not apply. *See United States v. Patane*, 542 U.S. 630, 631–32 (2004) (“Unlike . . . actual violations of the Self-Incrimination Clause, there is, with respect to mere failures to warn, nothing to deter . . . [and] therefore no reason to apply [*Wong Sun's*] ‘fruit of the poisonous tree’ doctrine.”).

In *Oregon v. Elstad*, 470 U.S. 298, 305–09 (1985), the U.S. Supreme Court held that, if a suspect was subjected to custodial interrogation without the benefit of *Miranda* warnings, a subsequent confession by the suspect may nonetheless be admitted if the totality of circumstances establishes that the second statement was knowing and voluntary. Unless the police engage in an interrogation process that must “realistically [be] seen as part of a single unwarned sequence of questioning,” *see Missouri v. Seibert*, 542 U.S. 600, 612 n. 4 (2004), subsequent custodial interrogation following a break in the initial proceedings, *Miranda* warnings, and a waiver of rights is constitutional. *See id.* *See also Elstad*, 470 U.S. at 318 (“a suspect who has once responded to unwarned yet uncoercive questioning is not thereby disabled from waiving his rights and confessing after he has been given the requisite *Miranda* warnings.”).

Here, Officer's initial unwarned custodial interrogation should not prevent the prosecution from using Suspect's later confession to Detective. After Officer's original *Miranda* violation, Suspect was taken to the police station where Detective provided proper *Miranda* warnings and obtained Suspect's knowing and voluntary waiver before interrogating Suspect. Detective's provision of *Miranda* warnings at a later time and in a different place rendered Suspect's later statements to Detective admissible.

Point Four(b) (10%)

Suspect's statement that he might want an attorney was too ambiguous to require Detective to cease interrogation.

Pursuant to *Davis v. United States*, 512 U.S. 452, 458 (1994), if an arrestee makes an unambiguous and unequivocal request or demand for an attorney, the police must cease the interrogation and honor the request.

Suspect did not make such a request or demand; the statement “I’m not sure about this. Maybe I need a lawyer” was ambiguous and equivocal. *Id.* at 459–62. *See also United States v. Johnson*, 400 F.3d 187, 195 (4th Cir. 2005), citing *Burket v. Angelone*, 208 F.3d 172, 197–98 (4th Cir. 2000) (“I think I need a lawyer” is not an unambiguous request for an attorney.). Therefore, Detective was not required to cease the interrogation and provide Suspect with an attorney. Indeed, Detective was not even obliged to seek clarification of Suspect’s intentions. *Davis*, 512 U.S. at 461–62 (declining to “adopt a rule requiring officers to ask clarifying questions” and concluding that when a suspect’s statement “is not an unambiguous or unequivocal request for counsel, the officers have no obligation to stop questioning him”). Detective therefore did not violate Suspect’s rights by ignoring Suspect’s equivocal statement about an attorney, and the court should not suppress Suspect’s confession.

TRUSTS ANALYSIS

(Trusts I.G.; II.F.3.)

ANALYSIS

Legal Problems

- (1) May a court reform the terms of Testator's testamentary trust to permit the sale of the home?
- (2) May a court reform the terms of Testator's testamentary trust to authorize the use of both the home's sale proceeds and the earnings on those proceeds to pay Daughter \$2,000 monthly for her expected rent?
- (3) Will the trust property pass to Testator's estate upon Daughter's death?

DISCUSSION

Summary

Under the "equitable deviation" doctrine, a court may modify an administrative provision of a trust based on unanticipated changed circumstances. Here, the trust's "no-sale" provision is administrative, and there is a strong argument that the change in the neighborhood around the home represents a circumstance not anticipated by Testator.

Under the common law, courts may not change the dispositive provisions of a trust. The trust provisions regarding disposition of the home's sale proceeds are dispositive. Thus, if the home is sold, a court may not alter the relative interests of Daughter and Charity in the sale proceeds. However, under Uniform Trust Code § 412(a) and like statutes, a court may modify the "dispositive terms of a trust . . . if, because of circumstances not anticipated by the settlor, modification . . . will further the purposes of the trust." It is unclear whether a court would reform the trust in the manner Daughter seeks under this provision.

If a charitable beneficiary no longer exists when a trust terminates, trust property reverts to the trust settlor or his or her estate unless the court, using its cy pres power, substitutes another charity for the nonexistent charity. Here, Testator's intentions are unclear. However, because there is a presumption of general charitable intent, the court would likely exercise its cy pres power. Under the Uniform Trust Code, which establishes a conclusive presumption of general charitable intent, the court would certainly exercise its cy pres power and substitute a different charity. Thus, the trust property would not revert to Testator's estate.

Point One (30%)

Under both the common law equitable-deviation doctrine and the Uniform Trust Code, a court could reform the provisions of the trust to authorize the trustee to sell the home instead of retaining it.

Under the common law, a court may order “equitable deviation” from the terms of a trust when an unanticipated change in circumstances would otherwise “defeat or substantial[ly] impair[] the accomplishment of the purposes of the trust.” *See* AUSTIN W. SCOTT, ABRIDGEMENT OF THE LAW OF TRUSTS § 167 (1960). *See also* RESTATEMENT (SECOND) TRUSTS § 167; MARY F. RADFORD, GEORGE G. BOGERT & GEORGE T. BOGERT, THE LAW OF TRUSTS AND TRUSTEES § 994 (3d ed. 2006).

The Uniform Trust Code recognizes and expands the equitable-deviation doctrine. Under the Code, an administrative provision of a trust may be modified “if, because of circumstances not anticipated by the settlor, modification or termination will further the purposes of the trust.” UNIF. TRUST CODE § 412(a). An administrative provision of a trust is one relating to the management of trust property instead of the allocation of benefits among trust beneficiaries. An unanticipated change in the character of the community where realty held by a trust is located represents the sort of change to which the equitable-deviation doctrine is applicable. *See* SCOTT, *supra*, at 315.

Here, the facts support application of the equitable-deviation doctrine. The trust provision in question is administrative: it directs the trustee to retain the home and not to sell it. The facts also show that the neighborhood in which the home is located has changed substantially and in a way that Testator did not anticipate. The trust instrument’s directive that the trustee retain the home until Daughter dies seems to have been based on the view that the home would be in a desirable residential neighborhood. Instead, the neighborhood is now dominated by apartment houses and noisy commercial establishments. Thus, the equitable-deviation doctrine should permit reformation of the trust.

The Uniform Trust Code also provides that, even if circumstances have not changed in an unanticipated manner, an administrative provision may be modified if “continuation of the trust on its existing terms would be impracticable or wasteful or impair the trust’s administration.” *Id.* § 412(b). This expansion rests on the view that “a policy of rigid adherence to the letter of the donative instrument is likely to frustrate both the donor’s purposes and the efficient use of resources.” RICHARD POSNER, ECONOMIC ANALYSIS OF LAW 556 (5th ed. 1998).

Here, there is a strong argument that retention of the home would impair the trust goal of providing Daughter with adequate and desirable housing. Thus, reformation of the trust should also be permitted under Uniform Trust Code § 412(b).

[NOTE: Because the request to sell the home affects an administrative provision of the trust, the permission of the trust beneficiaries and/or trustee is *not* required to reform the trust. “Lack of consent by a beneficiary is no bar if a modification will have no effect on the non-consenting beneficiary.” WILLIAM M. MCGOVERN, JR., AND SHELDON F. KURTZ, WILLS, TRUSTS AND ESTATES 385 (3d ed. 2004).]

Point Two (40%)

Under modern statutes, but not the common law, a court may alter a dispositive provision of a trust to further trust purposes. It is unclear whether a court would find that using the proceeds of the home’s sale to fund Daughter’s rent would further trust purposes.

Under the common law, the equitable-deviation doctrine applies only to administrative provisions of a trust. *See* RESTATEMENT (SECOND) OF TRUSTS § 167. Courts are not empowered to alter dispositive provisions that determine the allocation of trust assets and income among trust beneficiaries.

Here, although the trust provision directing that the home be retained until Daughter's death is administrative, the provisions directing that Daughter has the right to live in the home until her death and that the home sale proceeds go to Charity when Daughter dies are dispositive; effectively, these provisions grant Daughter an entitlement to trust income (but not trust principal) and grant Charity the proceeds from the home's sale. *See generally* UNIF. PRIN. & INC. ACT § 404(2) (1997). Thus, under the common law, a court may not alter the beneficial rights of Daughter and Charity in the proceeds obtained from selling the home.

However, under Uniform Trust Code § 412(a) and like statutes, a court may modify the "dispositive terms of a trust . . . if, because of circumstances not anticipated by the settlor, modification . . . will further the purposes of the trust. To the extent practicable, the modification must be made in accordance with the settlor's probable intention."

Here, it is unclear whether a court would find that trust modification would further the purposes of the trust. There is an argument that Testator intended to provide Daughter with a desirable residence during her lifetime and, although the home was such a residence during Testator's lifetime, an unanticipated change of circumstances has altered its desirability. (*See* Point One). Thus, a court could find that modification would further Testator's purposes, even if use of the proceeds would ultimately reduce the value of Charity's remainder interest.

There is an opposing argument, perhaps even stronger. Daughter has only a life interest in the home. However, her proposed modification would likely result in the complete loss of the remainder interest. Daughter proposes that the trust expend \$24,000 annually from an estimated \$300,000 trust. A payout of this size would likely cause a depletion of the entire trust corpus in due course and deprive the remainderman of its interest. In fact, if Daughter lives long enough, that payout would exhaust the trust principal, leaving no money to pay her either. On the other hand, the trustee could be authorized to purchase a new residence with the proceeds from the home's sale. This approach would both provide Daughter with a desirable place to live for the rest of her life, as Testator intended, and still preserve the remainder interest.

[NOTE: Extra points could be awarded to the examinee who notes that to the extent the remainder interest fails (*see* Point Three) and the property reverts to Testator's estate, the argument in favor of Daughter is strengthened if she is the sole beneficiary of Testator's estate.]

Point Three (30%)

Upon Daughter's death, the trust property likely will not pass to Testator's estate because of the cy pres doctrine.

Under the common law, when trust property to be used for a charitable purpose could not be distributed as directed in the trust instrument, the trust did not necessarily fail. *See* SCOTT, *supra*, § 399 (1960). Instead, the court determined whether to exercise its cy pres power and redirect the charitable gift to another like charity. *See* UNIF. TRUST CODE § 413; RESTATEMENT (THIRD) OF TRUSTS § 67.

The common law cy pres doctrine requires an initial inquiry into the settlor's intent: If the court determines that the settlor had a *specific* charitable intention limited to the charitable purpose stated in the trust instrument, the property reverts to the settlor or the settlor's estate. If the court determines that the settlor had a *general* charitable intention, it substitutes for the named charity another one with activities consistent with the settlor's intentions. *See* UNIF. TRUST CODE § 413; RESTATEMENT (THIRD) OF TRUSTS § 67. The common law and the Restatement (Third) of Trusts both presume that a settlor has a general charitable intent. *Id.*

Trusts Analysis

Here, there is little evidence regarding Testator's intentions. Testator may have wanted to help the homeless generally; Testator may also have wanted to address homelessness in Capital City's business district specifically. There is no evidence that Testator viewed Charity as the sole means to either of these goals; nor is there evidence to the contrary. Therefore, the presumption of general charitable intent would likely prevail.

The Uniform Trust Code appears to establish a conclusive presumption of general charitable intention. Section 413(a) of the Code provides that "if a particular charitable purpose becomes unlawful, impracticable, impossible to achieve, or wasteful: (1) the trust does not fail, in whole or in part; (2) the trust property does not revert to the settlor or the settlor's successors in interest; and (3) the court may apply cy pres to modify . . . the trust by directing that the trust property be applied or distributed, in whole or in part, in a manner consistent with the settlor's charitable purposes." Thus, under § 413(a), the court should apply the cy pres doctrine and substitute a different charity for Charity. The trust assets would not revert to Testator's estate.

[NOTE: The following MEE jurisdictions have enacted the Uniform Trust Code: Alabama, Arkansas, District of Columbia, Missouri, Nebraska, New Hampshire, New Mexico, North Dakota, and Utah. The Uniform Trust Code has substantially influenced the Trust Code of Iowa as well.]

REAL PROPERTY ANALYSIS

(Real Property II.B.; V.B.)

ANALYSIS

Legal Problems

- (1) Has Railroad abandoned its interest?
- (2) In the absence of a state recording act, as between Daughter and Purchaser, who owns the land?
- (3) Was Purchaser on constructive notice of the interests of Railroad and Daughter and thus not a bona fide purchaser for value?
- (4) Was Purchaser on inquiry notice of the interests of Railroad and Daughter and thus not a bona fide purchaser for value?

DISCUSSION

Summary

Railroad's interest would be lost only if it abandoned that interest, and abandonment is not supported by the facts. Under the common law, in the absence of a recording statute, Daughter would own the land in fee simple subject to the Railroad's easement because both of them acquired their interests before Purchaser bought the land from Oscar's estate. This result changes under the state's notice-type recording statute *only* if Purchaser is a protected bona fide purchaser without notice of either prior interest. Here, the most likely conclusion is that Purchaser, although having no actual or constructive notice of the interest of Railroad or Daughter, had inquiry notice of their interests and, thus, is not protected by the state recording statute. An argument can be made, however, that Purchaser had inquiry notice only of Railroad's interest, in which case Daughter would have no interest in the land, and Purchaser would own it subject to Railroad's interest.

Point One (30%)

Railroad's easement was not abandoned unless Railroad had an intent to abandon it.

Easements may be terminated in a variety of ways, such as by their express terms, written release, merger of the dominant and servient tenements, prescription, estoppel, condemnation, and abandonment. The only method of termination potentially applicable under these facts is abandonment. *See* HERBERT HOVENKAMP & SHELDON F. KURTZ, PRINCIPLES OF PROPERTY LAW 333–36 (6th ed. 2005). If a court were to find that either Daughter or Purchaser acquired a fee simple title (*see* Point Three) subject to Railroad's interest, either may argue that Railroad's easement was extinguished by abandonment because Railroad has not used the easement since 2000.

An abandonment theory is unlikely to succeed, however, because mere non-use of an easement is insufficient to establish abandonment. Instead, there must be a cessation of use coupled with evidence of the user's intent to abandon the easement. WILLIAM B. STOEBUCK & DALE A. WHITMAN, *The Law of Property*, 467–68 (3d ed. 2000). Here, there is insufficient evidence of Railroad's intent to abandon its easement. Notably, Railroad has not removed its tracks and there are no other facts to suggest that Railroad has voluntarily relinquished its interest. In the absence of such evidence, a court is likely to find that Railroad has not abandoned its easement.

Point Two (10%)

Under the common law first-in-time, first-in-right principle, Daughter, and not Purchaser, owns the land, unless the state's recording act mandates a contrary result.

Under the common law, a grantor can convey only those rights in land that the grantor had *at the time of the conveyance*. Thus, under the common law, priority among successive transfers is dictated by priority of time—the so-called “first-in-time, first-in-right” principle. *See* 14 POWELL ON REAL PROPERTY § 82.01[1][a] at 82-4 (2009).

Here, Oscar's conveyance to Sam in 1980 takes priority over the subsequent transfer by the executor of Oscar's estate to Purchaser. Once Oscar conveyed the land to Sam, neither Oscar nor his estate at his later death had a title left to convey to anyone, including Purchaser. Rather, title was then in Sam. Sam's conveyance of legal title to Daughter would prevail over the later conveyance by Oscar's executor to Purchaser. However, if the state recording act protects Purchaser, then Purchaser rather than Daughter would own the land. *See* Point Three.

Point Three (25%)

While the state has rejected the common law first-in-time, first-in-right principle by enacting a notice-type statute with a grantor-grantee index, Purchaser was not on constructive notice of the interest of either Daughter or Railroad. Although the deeds to Daughter and Railroad were recorded, they were not properly indexed and, thus, not discoverable, because the deed to their predecessor in title—Sam—was never recorded.

All states have recording statutes that, when applicable, overturn the results of the common law “first-in-time, first-in-right” principle. The recording statute here is a notice-type statute providing that unrecorded conveyances are not valid against a “subsequent purchaser for value and without notice” of the conveyance. Under a notice-type recording statute, Purchaser can prevail against either of or both Daughter and Railroad *only* if (1) the prior conveyances were unrecorded, (2) Purchaser paid value for the land, and (3) Purchaser took without either actual, constructive, or inquiry notice of the prior conveyances.

[NOTE: Some examinees may incorrectly conclude that the recording act is a race-notice statute because the last part of the statute states: “unless the same be recorded according to law.” Placed in its proper grammatical context, however, “the same” relates to the instrument of prior conveyance. There is no requirement that the *subsequent purchaser* must record to take priority over an earlier transaction. By comparison, a typical race-notice statute protects only a subsequent purchaser who records. If he does not record, he is not protected, even though he is a bona fide purchaser.]

The facts clearly state that Purchaser paid value, so payment of value is not an issue here. Furthermore, no facts suggest that Purchaser had actual notice of the conveyances of the

easement and fee to Railroad and Daughter, respectively. But there are two other possible ways for a subsequent purchaser to have notice. One is constructive; the other is inquiry.

Constructive notice arises through the recording system. A purchaser is placed on constructive notice of all information that is *properly* recorded on the public land records whether he sees it or not. *See* POWELL, *supra*, § 82.02[1][d][ii] at 82-33. While both Railroad and Daughter recorded their interests, Sam (from whom they both claimed) did not. Because Sam's deed from Oscar was not recorded, both the deed from Sam to Railroad conveying an easement and the later deed from Sam to Daughter conveying to her a fee are so-called "wild deeds," meaning they were recorded outside the chain of title. As such, they are undiscoverable by a reasonable search of the grantor-grantee indexes. A search of the public land records by Purchaser would have shown that as a matter of public record his seller, Oscar, had not conveyed the property to anyone because the Oscar to Sam deed was not recorded. As a result, a title searcher could not have discovered Sam's later conveyances to Railroad and Daughter even though they were recorded. Courts have uniformly held that a wild deed is not "properly recorded" and, therefore, imports no constructive notice to a subsequent purchaser. *See* WILLIAM B. STOEBCUK & DALE A. WHITMAN, *supra*, 894. Accordingly, Purchaser is not on constructive notice of the interests of Daughter and Railroad and his interest would appear to have priority to theirs. *But see* Point Four.

Point Four (35%)

Purchaser is not a bona fide purchaser for value under the state's notice-type recording statute because he had inquiry notice of Railroad's interest and, likely, of Daughter's interest as well.

Although Purchaser did not have constructive notice (*see* Point Three), the law also imputes knowledge to a subsequent purchaser in another way, namely through an obligation of inquiry. Here there is a strong argument that Purchaser had inquiry notice of Railroad's interest and, therefore, also that he had inquiry notice of Daughter's interest.

Inquiry notice exists when knowledge is imputed to a buyer from facts and circumstances suggesting the existence of a prior conveyance. *See* POWELL, *supra*, § 82.02[1][d][iii], at 82-39. Some courts have held that a purchaser who takes by quitclaim deed, as Purchaser did, is presumed to take with notice of any interests that could have been discovered by reasonable diligence. *See id.* § 82.02[1][d][iii][B], at 82-44 to 82-45. This perspective is based upon the theory that the title is suspicious if a grantor refuses to give covenants of title. The majority of courts, however, reject this rule because there are many legitimate reasons for a grantor to convey by quitclaim deed, particularly in an environment where title insurance is common. *See id.* § 82.02[1][d][iii][B], at 82-46. Accordingly, in most states, Purchaser would not have inquiry notice from the quitclaim deed alone.

[NOTE: In the minority of states that would require further inquiry based upon the quitclaim deed alone, it is unclear what further investigation is required. One could argue that Purchaser could have contacted Oscar's heirs or neighboring landowners, but there is no indication from the facts that such an inquiry would have revealed the prior conveyances. Another possibility would be to search the property tax rolls. The facts do not indicate who has been paying taxes on the property (or whether such taxes even exist in this state), but it is possible that such taxes were assessed against Sam (and later Daughter) after they acquired title to the property.]

The better argument is that inquiry notice arose from the possibility of a visual inspection of the property. Inquiry notice exists when someone other than the record owner is in possession

or use of the property. *See id.* § 82.02[1][d][iii][A], at 82-41. Here, a visual inspection would have revealed the existence of railroad tracks on otherwise undeveloped land. Exercising reasonable diligence, Purchaser would have discovered the tracks, and then should have engaged in further inquiry to ascertain the interest of whoever put the tracks there. Accordingly, a court is most likely to find that even though Railroad's easement was recorded outside the chain of title, Purchaser had inquiry notice of Railroad's interest based upon the visible improvements on the land.

Would this inquiry notice also extend to the interest of Sam and then Daughter? Assuming that Purchaser was successful in making inquiries to find Railroad, Purchaser could have discovered that Railroad had acquired its interest from Sam. That discovery would have prompted further inquiry into the nature of Sam's interest. In addition, a search of the grantor index for Sam's name would reveal the deed to Daughter, which was recorded, albeit outside of the chain of title. Accordingly, if Railroad is still in existence and easily located, a court is likely to find that Purchaser had inquiry notice not only of Railroad's easement but also Daughter's fee simple interest.

In short, it seems fairly clear that Purchaser would be deemed to have inquiry notice of Railroad's easement, and it is likely that Purchaser also would have inquiry notice of Daughter's interest. [NOTE: Should an examinee, however, reason that Purchaser's inquiry obligation did not extend beyond asking Railroad what its interest was, then Purchaser would prevail as against Daughter, but not Railroad.]

[NOTE: Examinees may observe that Daughter does not qualify as a purchaser for value because Daughter received the land as a gift. However, Daughter's status as a donee is irrelevant to the analysis because she acquired legal title *before* Purchaser and, therefore, would prevail under the common law priority rule. Thus, Daughter is protected without having to prove her status as a purchaser under the recording act.]

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure VI.F.)

ANALYSIS

Legal Problems

- (1) Is a district court's grant of judgment on the pleadings with respect to a counterclaim a "final decision" subject to immediate appeal when the district court also orders judgment to be entered on the counterclaim?
- (2) Is a district court's refusal to enforce a contractual forum-selection clause a "final decision" subject to immediate appeal?
- (3) Does a district court's refusal to enforce a contractual forum-selection clause fall within any of the exceptions to the final-judgment rule?
- (4) If a district court makes several orders in a case and one of those orders is appealable, may an appellate court review the non-appealable orders on grounds of efficiency?

DISCUSSION

Summary

BritCo can appeal immediately from the district court's decision on BritCo's counterclaim. Where there are multiple claims or counterclaims in a case, a final disposition of one of those claims will be appealable when, as here, the trial court orders entry of judgment on that claim and certifies that there is no just reason for delay. FED. R. CIV. P. 54(b).

BritCo cannot appeal immediately from the court's refusal to enforce the forum-selection clause. The court's decision on this issue did not end litigation on the merits of the case and was therefore not an appealable final judgment.

In addition, the court's forum-selection order is not appealable under the collateral-order doctrine. Assuming the lower court's decision on the forum-selection clause was incorrect, immediate appeal is not necessary to vindicate BritCo's rights under the contractual forum-selection clause. Those rights can be protected after final judgment, by striking down any judgment issued in violation of the forum-selection clause. Nor do the facts of this problem present the kind of extraordinary abuse of power that would prompt an appellate court to review a lower court's action by writ of mandamus.

Even though the appellate court would have jurisdiction over another decision in the same case, considerations of efficiency do not give the court the power to hear an appeal from the lower court's decision on the forum-selection issue.

Point One (45%)

The district court's grant of judgment on the pleadings with respect to BritCo's counterclaim is immediately appealable because the district court judge stated that there was no just reason for delay and ordered entry of judgment on the counterclaim.

In the federal courts, litigants ordinarily may appeal only from final judgments of the district courts. *See* 28 U.S.C. § 1291. A final judgment is one that “ends the litigation on the merits and leaves nothing for the court to do but execute the judgment.” *Catlin v. United States*, 324 U.S. 229, 233 (1945).

When, as in this problem, more than one claim for relief is presented in an action, Federal Rule of Civil Procedure 54(b) provides that a decision that “adjudicates fewer than all the claims” in the action “does not end the action as to any of the claims or parties. . . .” Under this default rule, a grant of judgment on one of several claims in an action is not a final judgment and is not subject to immediate appeal.

However, Rule 54(b) permits district courts to reverse the default rule and to designate their resolutions of particular claims as immediately appealable “final judgments” even when there are other claims in the action that have not yet been decided. A district court may “direct entry of a final judgment” as to a claim if the district court “expressly determines that there is no just reason for delay.” This procedure “does not relax the finality required of each decision, as an individual claim, to render it appealable, but it does provide a practical means of permitting an appeal to be taken from one or more final decisions on individual claims, in multiple claims actions, without waiting for final decisions to be rendered on *all* the claims in the case.” *Sears, Roebuck & Co. v. Mackey*, 351 U.S. 427, 435 (1956) (emphasis in original).

In this problem, multiple claims for relief were presented by the parties—OfficeEquip sued for breach of contract and BritCo counterclaimed for breach of the non-competition clause in the contract. When the district court granted judgment on the pleadings for OfficeEquip on BritCo's counterclaim, the court also expressly directed entry of judgment and expressly determined that there was no reason for delay. Thus, under Rule 54(b), the district court's decision constituted a “final judgment” on the counterclaim and is immediately appealable.

Point Two (40%)

The district court's refusal to enforce the forum-selection clause is not an appealable final judgment.

The district court's refusal to enforce the forum-selection clause did not resolve any of the claims in the action. Far from “end[ing] the litigation on the merits,” *Catlin*, 324 U.S. at 233, the court's decision allowed the litigation to go forward on the merits. Under the final-judgment rule, this is a non-appealable interlocutory order.

Although there are certain exceptions to the final-judgment rule that BritCo could invoke in an attempt to secure immediate review of the court's decision, none of the exceptions would be applicable on the facts of this problem. *See* Point Three.

Point Three (10%)

A district court's order refusing to dismiss a case pursuant to a contractual forum-selection clause is not immediately appealable under the judge-made collateral-order doctrine or pursuant to any other exception to the final-judgment rule.

a. Collateral-order doctrine. In *Cohen v. Beneficial Industrial Loan Corp.*, 337 U.S. 541 (1949), the U.S. Supreme Court created the so-called “collateral order” doctrine as an exception to the final-judgment rule. Under the collateral-order doctrine, an immediate appeal may be taken from an interlocutory order that conclusively determines an important issue in a case if that issue is independent of (collateral to) the merits of the action and *if a delay in appellate review would effectively preclude the losing party from an opportunity to vindicate its rights on appeal.*

The collateral-order doctrine does not apply in this case because an immediate appeal is not necessary to preserve BritCo’s contractual right to have contract disputes adjudicated in London. If the lower court’s ruling on the forum-selection clause is wrong, BritCo’s contractual rights can be vindicated on an appeal from a final judgment in the case. An appellate court could order dismissal of the case at that time, thus forcing OfficeEquip to pursue its claim in the appropriate court. *See Lauro Lines S.R.L. v. Chasser*, 490 U.S. 495 (1989) (collateral-order doctrine does not permit immediate appeal from an order denying enforcement of a contractual forum-selection clause because the right to have “binding adjudication” only in a particular forum can be vindicated on appeal from final judgment by reversing a judgment entered in violation of that right).

b. Mandamus or prohibition. Another means of obtaining immediate review of interlocutory orders is to seek an extraordinary writ (mandamus or prohibition) from the appellate court reversing the trial court’s ruling. 28 U.S.C. § 1651(a). However, an appellate court is highly unlikely to grant an extraordinary writ in a case of this sort.

Mandamus and prohibition are available to allow appellate courts “to confine trial judges to the lawful exercise of their jurisdiction or to compel them to act if they have abdicated their jurisdictional obligations.” J.H. FRIEDENTHAL, M.K. KANE, & ARTHUR R. MILLER, CIVIL PROCEDURE 624 (4th ed. 2005); *Roche v. Evaporated Milk Ass’n*, 319 U.S. 21, 26 (1943). Although courts often favor the enforcement of forum-selection clauses, *see The Bremen v. Zapata Off-Shore Co.*, 407 U.S. 1 (1972) (stating strong federal policy of enforcing forum-selection clauses in admiralty actions), their enforceability is not guaranteed and ultimately depends on the terms of the clause, the reasons for its adoption, and its impact on the parties to the litigation. *Cf. Carnival Cruise Lines, Inc. v. Shute*, 499 U.S. 585 (1991) (enforcing a forum-selection clause in a cruise line ticket on basis that clause is efficient tool for determining location of litigation in event of accident, use of clause avoids litigation in multiple forums, and plaintiffs did not satisfy their burden of establishing serious inconvenience if case were heard in chosen forum). Given that the writs of mandamus and prohibition are extraordinary writs to be used only in exceptional circumstances, *see Cheney v. U.S. District Court for the District of Columbia*, 542 U.S. 367, 380 (2004), it is highly unlikely that an appellate court would grant a writ to exercise immediate review over a district court’s judgment about such matters.

[NOTES: (1) Technically, the writ that would be appropriately sought in this case is a writ of prohibition. But examinees who mention either writ should receive credit. (2) There are other statutory exceptions to the final-judgment rule, but none of them apply to this problem and you should not expect examinees to discuss them. *See, e.g.*, 28 U.S.C. § 1292(a) (immediate appealability of certain orders relating to injunctions, receiverships, and admiralty); 28 U.S.C. § 1292(b) (appealability of interlocutory orders when district judge certifies certain grounds for immediate appeal). *See generally* FRIEDENTHAL, *supra*, at 629–33.]

Point Four (5%)

The doctrine of pendent appellate jurisdiction would not authorize the appellate court to hear an appeal from the forum-selection decision, even though the court would have jurisdiction over another decision in the same case.

Otherwise non-appealable rulings are sometimes reviewed by appellate courts under the doctrine of “pendent appellate jurisdiction.” The argument for pendent appellate jurisdiction is that the final-judgment rule “is designed to prevent parties from interrupting litigation by pursuing piecemeal appeals. Once litigation has already been interrupted by an authorized pretrial appeal, . . . there is no cause to resist the economy that pendent appellate jurisdiction promotes[,]” and a party should be able immediately to appeal any decisions in the case that can conveniently be reviewed along with the appealable order. *Swint v. Chambers County Comm.*, 514 U.S. 35, 45 (1995). BritCo might argue persuasively that judicial economy would be served if the appellate court would hear its appeal from the order denying enforcement of the forum-selection clause at the same time the court hears its appeal from the judgment on the pleadings order.

However, pendent appellate jurisdiction would not be available in this case. Although the U.S. Supreme Court has implied that the exercise of pendent appellate jurisdiction might sometimes be appropriate, it has also suggested that the scope of such jurisdiction should be narrowly confined. The appellate courts are bound by 28 U.S.C. § 1291, which limits their basic appellate jurisdiction to “final decisions,” and reasons of judicial economy alone would not justify a court in expanding its jurisdiction to cover non-final orders. Rather, a party seeking review of a non-final order on the ground that it is pendent to an appealable order would need to show that the two rulings were “inextricably intertwined” or that “meaningful review” of the ruling over which the court has jurisdiction would not be possible unless the court also reviewed the otherwise non-appealable ruling. *Swint*, 514 U.S. at 51.

The forum-selection ruling and the ruling denying BritCo’s counterclaim are not inextricably intertwined. Moreover, meaningful review of the counterclaim issue is possible without any consideration of the forum-selection question. Consequently, pendent appellate jurisdiction is not available in this case.

[NOTE: Even well-prepared examinees may be unfamiliar with the concept of pendent appellate jurisdiction. While the Supreme Court has mentioned the concept and it may be a useful label for some decisions, the Court has not expressly developed a doctrine of “pendent appellate jurisdiction.” Nonetheless, examinees should be expected to spot the issue—raised by these facts—of how an appellate court ought to respond when a litigant seeks review of multiple orders of a lower court, some of which are appealable orders and some of which are not. What is important is that examinees recognize that there is a judicial economy argument in favor of reviewing all the orders simultaneously, but that *the judicial economy argument fails* because of the final-judgment rule, unless some special reason can be shown why simultaneous review will contribute to the court’s ability to review the appealable order. Examinees who spot the problem and understand that judicial economy alone is not grounds for review of the forum-selection clause decision should receive full credit for this portion of the analysis, even if they make no mention of pendent appellate jurisdiction.]

FAMILY LAW/CONFLICT OF LAWS ANALYSIS

(Family Law I.E.; IV.E.1.; V.B.3.; VII.C. / Conflict of Laws III.C.5.)

ANALYSIS

Legal Problems

- (1) Is a common law marriage that is valid where contracted also valid in a state that does not recognize common law marriage?
- (2) What are the requirements for a valid common law marriage?
- (3) Does a state statute that permits the adoption of an unmarried father's child when he has not "maintained a residential relationship" with the child for "at least 9 of the 12 months immediately preceding the filing of an adoption petition" violate the U.S. Constitution when applied to a committed residential parent?
- (4) Under the UCCJEA, when may a state issue an order (a) terminating parental rights and (b) making an initial custody determination?

DISCUSSION

Summary

A common law marriage valid where contracted is valid in all states. To enter into a valid common law marriage, a couple must cohabit, hold themselves out as a married couple, and enter into a present agreement that they are married. Although Meg and Dave may have agreed to be married in the future and Meg has held Dave out as a future husband (her fiancé), this conduct is inadequate to establish a common law marriage. Thus, Dave would be treated as an unmarried father under State B's adoption-consent statute.

Dave cannot satisfy the statutory requirements to veto his child's adoption because he has not lived with Child for at least 9 of the 12 months prior to filing of the adoption petition. However, the State B statute is almost certainly unconstitutional as applied to Dave because Dave is a committed father who consistently held himself out as Child's father and both lived with and supported Child until Meg's unannounced departure to State B.

The UCCJEA permits a state to make an "initial child-custody determination" only if it is the child's "home state" when the child-custody proceeding was commenced or was the home state of the child within six months before the commencement of the proceeding and a parent continues to live in the state. A child-custody proceeding includes a proceeding to terminate parental rights. Thus, because Meg took Child from State A only five months ago, State B does not have jurisdiction to terminate Dave's parental rights or to issue a child custody order.

Point One (20%)

A common law marriage that is valid where contracted is also valid in a state that does not permit common law marriage.

Under accepted conflict-of-laws principles, a marriage valid under the law of the place in which it was contracted is valid elsewhere unless it violates a strong public policy of the state which has the most significant relationship with the spouses and the marriage. *See* RESTATEMENT (SECOND) OF CONFLICT OF LAWS § 283. Perhaps because the vast majority of states once permitted common law marriage, courts in states that do not recognize common law marriage have consistently held that, if a man and woman were domiciled in a state that permits common law marriage and their conduct met the requirements of that state's law for establishing such a marriage, recognition of the marriage does not violate a strong public policy. Thus, if Dave and Meg entered into a valid common law marriage in State A, it would be recognized by a State B court. *See* Point Two(b).

A common law marriage, once established, is the equivalent of a ceremonial marriage. Thus, if Dave can show that he and Meg entered into a common law marriage, he would be treated as a married father under State B's adoption law.

Point Two (20%)

Dave and Meg did not enter into a common law marriage.

To establish a common law marriage, the proponent must show: (1) capacity to enter a marital contract, (2) a present agreement that the two parties are married, (3) cohabitation, and (4) "holding out" a marital relationship to the community. *See* HARRY D. KRAUSE ET AL., FAMILY LAW: CASES, COMMENTS, AND QUESTIONS 129 (6th ed. 2007). The evidence here clearly establishes capacity and cohabitation. It also suggests an agreement to *become* married. However, a common law marriage requires a *present* marriage agreement. If Dave and Meg made any marriage agreement, it was an agreement to be married *in the future*: Meg told Dave that she was "committed to marrying him," but that she "wanted a real wedding, and we can't afford that now;" Meg also proposed that Dave move in with her so that "we can save money to get married." There is also no evidence that Dave and Meg held themselves out as a married couple. Although Meg said to friends and family that Dave was her fiancé, a fiancé is an intended spouse, not a current marriage partner.

Thus, Dave and Meg did not enter into a valid common law marriage, and Dave would be categorized as an unmarried father under State B's adoption-consent statute.

Point Three (40%)

Dave is a committed father who consistently held himself out as a parent, resided with his child, and provided support for his child and the child's mother. Thus, Dave has a strong argument that State B is constitutionally precluded from permitting his child's adoption without his consent.

"When an unwed father demonstrates a full commitment to the responsibilities of parenthood by '[coming] forward to participate in the rearing of his child,' his interest in personal contact with his child acquires substantial protection under the [Fourteenth Amendment's] Due Process Clause." *Lehr v. Robertson*, 463 U.S. 248, 261 (1983). *See also Stanley v. Illinois*, 405 U.S. 645 (1972); *Quilloin v. Walcott*, 434 U.S. 246 (1978); *Caban v. Mohammed*, 441 U.S. 380 (1979). Interpreting this standard, the U.S. Supreme Court has held that a father who lived with his children and their mother and held the children out as his own is entitled to a hearing to demonstrate his parental fitness before his parental rights may be terminated. *Stanley*. The Court has also held that the equal protection clause requires the state to give a father the opportunity to veto his child's adoption when state law grants a similarly situated unmarried mother a veto. *See Caban*.

On the other hand, the Court has held that a state adoption law that failed to grant an unmarried father a right to veto his child's adoption was constitutional when applied to a nonresidential father who provided minimal support and did nothing to establish his legal paternity until after the adoption petition was filed. *See Quilloin*, 434 U.S. 246. The Court has also held that an adoption order entered without notice to the unmarried father was constitutional when the state provided him with an opportunity to obtain notice and a hearing through registration with a "putative father registry." *See Lehr*, 463 U.S. at 264.

Dave has demonstrated the kind of commitment that triggers protection under the Fourteenth Amendment. Like the fathers whose constitutional rights were recognized in *Stanley* and *Caban*, Dave held himself out as Child's father; he consented to be identified as Child's father on Child's birth certificate and sent birth announcements identifying himself as Child's father. Like the fathers in *Stanley* and *Caban*, Dave lived with Child and Child's mother and provided support to them. After Child's birth, Dave was the only family breadwinner and held down two jobs in order to provide for Meg and Child. He also had volunteered to marry Meg and thus would have been a marital father had Meg agreed. Dave is also blameless for his failure to satisfy the statutory veto requirements; Dave would have lived with Child and Meg for the relevant nine-month period but for Meg's abrupt and unannounced departure from their home. State courts have typically held adoption-consent statutes that would deny a veto right to a father who has done everything in his power to establish a full relationship with his child are unconstitutional as applied in such a case. *See e.g., Adoption of Kelsey S.*, 823 P.2d 1216 (Cal. 1992); *In re Raquel Marie X*, 559 N.E.2d 418 (N.Y. 1990).

Although Dave does in some respects resemble the unsuccessful unmarried father in *Lehr*, it is likely that Dave would still prevail. The *Lehr* father, like Dave, was forced to hire an investigator to find his child and her mother. By the time he succeeded in doing so, an adoption petition had been filed. However, the *Lehr* father did not receive notice of this petition because he had not established his paternity and had failed to enter his name in the state's putative father registry. Given that he could have obtained notice and a hearing, the Supreme Court held that the state did not violate his constitutional rights when a judge refused to delay signing the adoption petition in order to give the father time to file the appropriate papers and participate in a hearing at which his objection could be heard. *See Lehr*, 463 U.S. 248.

Here, by contrast, Dave established his paternity by voluntarily acknowledging Child and causing his name to be placed on Child's birth certificate. Under federal law, a voluntary acknowledgment of paternity is binding if unchallenged by the named father within 60 days. *See* 42 U.S.C. § 666(a)(5). Additionally, State B does not provide unmarried fathers with a putative father registry, and Dave thus had no way of obtaining notice of an adoption proceeding.

Thus, State B's adoption consent statute appears to be unconstitutional as applied to Dave, a committed parent who has fully participated in the rearing of his child.

Point Four (20%)

Because State A has been Child's home state within the past six months and Dave, a parent, continues to live in State A, State B does not have jurisdiction to terminate Dave's parental rights or to make an initial child-custody determination respecting Child.

Under the Uniform Child Custody Jurisdiction and Enforcement Act, which has been adopted in 48 states, a child's "home state" has exclusive jurisdiction to issue an initial custody decree. UCCJEA § 201(a)(1). A "home state" is a state where the child has lived with "a parent, or a person acting as a parent, for at least six consecutive months immediately before the

commencement of a child-custody proceeding.” *Id.* § 102(7). A “child-custody proceeding” includes a “proceeding for . . . termination of parental rights.” *Id.* § 102(4). A home state continues to have exclusive jurisdiction to issue an initial custody order even if the child is absent from the state when a custody petition is brought, so long as no more than six months has elapsed since the child’s departure from the jurisdiction and “a parent or person acting as a parent continues to live in” the home state. *Id.* § 201(a)(1). The “[p]hysical presence of, or personal jurisdiction over, a party or a child is not necessary . . . to make a child-custody determination.” *Id.* § 201(c).

Here, Meg took Child from the family home in State A only five months ago, and Dave still lives in State A. Thus, State A has exclusive jurisdiction to issue an initial custody decree and also to terminate parental rights. State B lacks jurisdiction to do either.

[NOTE: The UCCJEA does not apply to adoption proceedings, but termination of a parent’s rights is typically a precondition for an adoption. Thus, as a practicality, the UCCJEA should preclude a State B court from granting petition for Husband’s adoption of Child.]

NEGOTIABLE INSTRUMENTS (COMMERCIAL PAPER) ANALYSIS

(Negotiable Instruments (Commercial Paper) III.A. & B.; IV.A.; V.A., G. & H.)

ANALYSIS

Legal Problems

- (1) Can Bank recover from Checkco, which presented a check with a forged indorsement, for the loss Bank incurred in recrediting Manufacturer's account?
- (2) Can Checkco recover its loss from Jeweler, who was neither a party to the check nor transferred it?
- (3) Can Checkco recover its loss from Supplier, who indorsed the check and transferred it to Jeweler?

DISCUSSION

Summary

When Checkco presented the check to Bank, it warranted that it was entitled to enforce the check. This warranty was breached because, as a result of the forgery of Jeweler's signature, Checkco was not a person entitled to enforce the check; thus, Bank can recover its loss from Checkco. Checkco cannot recover from Jeweler, who neither indorsed the check nor made any transfer warranties. Supplier was a transferor who transferred by indorsement, so Supplier made transfer warranties to Checkco. None of the transfer warranties was breached and, because the check was not dishonored, Supplier is not liable on his indorser's obligation. Thus, Checkco cannot recover from Supplier.

Point One (40%)

By presenting the check to Bank and obtaining payment, Checkco warranted that it was entitled to enforce the check. This was not the case because of the forged indorsement of Jeweler. Thus, Bank may recover from Checkco the damages flowing from this breach of warranty.

When a check is presented to the drawee for payment and the drawee pays the check, the person making presentment warrants that, *inter alia*, it is a person entitled to enforce the check (or is authorized to obtain payment on behalf of such a person). UCC § 3-417(a)(1). Checkco presented the check to Bank, the drawee (UCC § 3-103(a)(4)), and Bank paid the check; therefore Checkco made this warranty.

Checkco was not a person entitled to enforce the check. Under UCC § 3-301, to be a person entitled to enforce the check in these circumstances, Checkco would need to be either a holder of the check or a nonholder of the check in possession of it who has the rights of a holder. Checkco is not the holder of the check because, in order to be the holder, Checkco would need to be in possession of the check and it would have to be payable either to bearer or to Checkco. UCC § 1-201(b)(21)(A). While Checkco was in possession of the check, the check was not

payable to either bearer or Checkco. Once the check was indorsed “Pay to Jeweler” by Supplier, the check became payable to Jeweler and could only become payable to bearer or another person if indorsed by Jeweler. UCC § 3-205(a). Jeweler never indorsed the check, however. (The forgery of Jeweler’s signature is ineffective. UCC § 3-403.) Thus, Checkco was not the holder of the check. While Checkco was a nonholder in possession of the check, it did not have the rights of a holder. It could have obtained the rights of a holder if Jeweler—the former holder—had transferred those rights, but Jeweler did not do so because transfer requires delivery of the check to a person for the purpose of giving that person the right to enforce the check (*see* UCC § 3-203) and Jeweler never delivered the check to Checkco (or anyone else) with such intent. Thus, Checkco was neither a holder of the check nor a non-holder in possession with the rights of a holder; accordingly, it was not a person entitled to enforce the check and, as a result, breached its presentment warranty. The fact that Checkco acted in good faith and without notice of the forged indorsement does not alter Checkco’s status.

Bank was damaged by this breach because, had Checkco been a person entitled to enforce, the facts giving rise to Bank’s obligation to recredit Manufacturer’s account would not be present and Bank would not have suffered the loss it incurred when it recredited Manufacturer’s account after paying the check. Accordingly, Checkco is liable to Bank for this loss.

Point Two (25%)

Checkco cannot recover from Jeweler, who is not a party to the check and did not make any warranties with respect to it.

A person is not liable on an instrument unless the person has signed the instrument. UCC § 3-401(a). Jeweler did not sign the check and thus is not liable on it. (The forgery of Jeweler’s signature as an indorsement does not count as Jeweler’s signature. UCC § 3-403.) While a person who is not a party to an instrument can still make warranties with respect to it, Jeweler has made no warranties to Checkco in this case. Presentment warranties are not relevant because they run only to a drawee or acceptor of the check and Checkco is neither. UCC § 3-417(a). Jeweler made no transfer warranties because Jeweler did not transfer the check for consideration. UCC § 3-416(a).

Point Three (35%)

Supplier indorsed the check, but has no liability as an indorser because the check was not dishonored. Supplier made a transfer warranty to Checkco, but it was not breached. Thus Supplier has no liability for breach of transfer warranty.

When Supplier indorsed the check, he incurred the obligation of an indorser. The obligation is to pay the check if it has been dishonored. UCC § 3-415(a). This check was paid by Bank and was not dishonored, so Supplier has no liability as an indorser. [NOTE: Alternatively, an examinee could conclude that Supplier has no liability to Checkco as an indorser because Checkco is neither a person entitled to enforce the check nor a subsequent indorser who paid it.]

When Supplier transferred the check for consideration and by indorsement, he made transfer warranties not only to its transferee (Jeweler) but also to any subsequent transferees, including Checkco. UCC § 3-416(a). As of the time of the transfer, none of the transfer warranties set out in UCC § 3-416(a) was breached—Supplier was a person entitled to enforce the check (as the payee in possession of the check, Supplier was its holder and, thus, a person

entitled to enforce it); all signatures on the check were authentic and authorized; the check had not been altered; it was not subject to any claims or defenses that could be raised against Supplier; and no insolvency proceedings had been instituted against Manufacturer. Therefore, Supplier was not liable for breach of transfer warranty.

[NOTE: An examinee might cite UCC § 4-208 rather than UCC § 3-417 in Point One, and UCC § 4-207 rather than UCC § 3-416 in Point Three. Those citations are equally valid.]

CONSTITUTIONAL LAW ANALYSIS

(Constitutional Law IV.A. & C.)

ANALYSIS

Legal Problems

- (1) Are the actions of a private nursing school subject to the Equal Protection Clause of the Fourteenth Amendment if the school receives no direct state funds, but the state regulates the school and certifies its graduates as eligible to become licensed nurses?
- (2)(a) Does it violate the Equal Protection Clause of the Fourteenth Amendment for a state-owned nursing school to deny admission to a male applicant because of his gender?
- (2)(b) Does it violate the Equal Protection Clause of the Fourteenth Amendment for a state to have an in-state nursing program reserved for female students, and an out-of-state program for male students, where the facilities of and employment from the all-female program are superior?

DISCUSSION

Summary

Private has not violated the man's rights under the Equal Protection Clause of the Fourteenth Amendment by denying him admission, because the actions of Private are not the actions of the state for purposes of the Equal Protection Clause. By contrast, as an arm of the state itself, Public's actions are state action. When Public denied the man admission based upon his gender, Public denied him equal protection of the laws. The creation of the Male Nursing Opportunity Program fails to cure this constitutional violation. As in *United States v. Virginia*, 518 U.S. 515 (1996), if a state creates two separate single-gender educational institutions, the institutions must (at a minimum) provide equivalent educational experiences. Because in this case the Male Nursing Opportunity Program is clearly inferior as an educational institution, it fails to pass scrutiny under the Equal Protection Clause.

Point One (30%)

Private's actions are not subject to the Equal Protection Clause because it is not a state actor.

The Fourteenth Amendment provides that "No State shall . . . deny to any person within its jurisdiction the equal protection of the laws." The U.S. Supreme Court has interpreted this language as applying not only to the states themselves but also to private parties whose actions constitute "state action." Simply put, in order for there to be a violation of the Fourteenth Amendment, the allegedly unconstitutional action (here, denial of admission based upon gender) must be attributable to the state. Actions of private parties are not typically considered state

action, but the actions of otherwise “private” parties can constitute state action in certain exceptional cases. For instance, private parties have been held to be state actors where (1) they have performed a traditional public function, *Jackson v. Metropolitan Edison Co.*, 419 U.S. 345, 352–53 (1974), (2) there is the enforcement of certain private contracts, (3) there is joint action or “entanglement” between a state and private actor, or (4) there is state encouragement of private discrimination, *Blum v. Yaretsky*, 457 U.S. 991, 1004 (1982) (“A State normally can be held responsible for a private decision only when it has exercised coercive power or has provided such significant encouragement, either overt or covert, that the choice must in law be deemed to be that of the State.”).

Private is a private entity and none of the factors described above contribute to a conclusion that its actions constitute state action. Running a private school or college is not state action. *Rendell-Baker v. Kohn*, 457 U.S. 830 (1982). First, Private is not performing a traditional public function. Second, there has been no judicial enforcement of a private contract here. Third, it is highly unlikely that a court would hold that mere state regulation of the curriculum and state certification of graduates is sufficient to constitute entanglement. Fourth, there is no evidence that the state has directly encouraged Private to discriminate on the basis of gender.

Point Two(a) (40%)

Public has violated the Equal Protection Clause because a state college may not deny admission on the basis of gender absent an “exceedingly persuasive justification.”

Laws that classify on the basis of gender are typically assessed under heightened scrutiny. *Reed v. Reed*, 404 U.S. 71, 75 (1971). Although some early cases suggested that strict scrutiny was the correct standard, modern cases have settled on intermediate scrutiny. *See Craig v. Boren*, 429 U.S. 190 (1976). In *United States v. Virginia*, 518 U.S. 515, 531 (1996), the U.S. Supreme Court held that state laws that make classifications on the basis of gender are unconstitutional unless the state can establish an “exceedingly persuasive justification” for the classification. An “exceedingly persuasive justification” is one that serves “important governmental objectives” and which does not rely upon outdated or overbroad generalizations and stereotypes about differences between men and women. The burden of justification is demanding and rests entirely on the state. The state must at least show that the “[challenged] classification serves important governmental objectives and that the discriminatory means employed are substantially related to the achievement of those objectives.” *Mississippi Univ. for Women v. Hogan*, 458 U.S. 718, 724–25 (quoting *Wengler v. Druggists Mut. Ins. Co.*, 446 U.S. 142, 150 (1980) (internal quotations omitted)). These objectives must be real in the sense that they are real state purposes rather than hypothetical justifications for the gender classification. Moreover, gender classifications must be “substantially related” to the achievement of such important governmental objectives. “[A] State can evoke a compensatory purpose to justify an otherwise discriminatory classification only if members of the gender benefited by the classification actually suffer a disadvantage related to the classification.” *Id.* at 728.

Because the man has been denied admission to Public solely on the basis of his gender, the action of Public—clearly the action of the state, as Public is the state nursing school—is presumptively unconstitutional. The state interest in this case is remedying past discrimination against women—as the letter states, “[m]indful of the historical discrimination that women have faced in State A, our state has established Public to remedy this discrimination and provide opportunities for women who want to work in the growing field of health care as nurses.” Remedying past discrimination is certainly an important governmental objective; in the contexts

of race and gender classifications, the Supreme Court has upheld this governmental objective in the face of heightened scrutiny. However, it is unclear whether this quote from Public's letter sets forth the actual state purpose. Although there has been gender discrimination in the field of health care in State A in the past, there is no evidence that there has been discrimination against women in the nursing field. Indeed, the evidence that 95 percent of nurses have historically been women suggests that State A is more likely reinforcing outdated stereotypes of women as nurses (rather than, say, doctors) by restricting Public admissions to women. Finally, if the goal of the admissions policy is to end discrimination against women in the health care field, it is not clear how the admissions policy advances this objective.

Point Two(b) (30%)

The Male Nursing Opportunity Program is inconsistent with the guarantees of equal protection.

In certain cases, a state may treat men and women differently consistent with the equal protection guarantee and provide separate facilities for each gender (for example, male and female sports teams, dormitories, and bathroom facilities at state universities). In such cases, moreover, the state must bear the burden of (1) demonstrating the "exceedingly persuasive justification" for the separate treatment, and (2) demonstrating that the separate facilities are substantially equivalent. Thus, for example, in *United States v. Virginia*, the Supreme Court suggested that the Commonwealth of Virginia could offer all-male and all-female public military-style education consistent with the Equal Protection Clause. However, because the new all-female "Leadership Program" in that case provided facilities and career opportunities inferior to those that the Commonwealth was providing in its established all-male program at the Virginia Military Institute, the Court concluded that the separate program violated the Fourteenth Amendment.

In this case, because the Male Nursing Opportunity Program is markedly inferior to the all-female Public program, it is insufficient to satisfy the Equal Protection Clause. Although graduates of the all-male program are still eligible to become nurses in State A, the two programs are not substantially equivalent. They differ in both overall quality and the employment opportunities they offer to their graduates. The facilities of the Male Nursing Opportunity Program are not as modern as those at Public, the faculty is not as experienced, and graduates of the Male Nursing Opportunity Program do not enjoy the same employment opportunities as graduates of either Public or Private. For these reasons, the Male Nursing Opportunity Program is inferior to the regular all-female Public program, and it cannot be offered as a substitute consistent with Equal Protection.

AGENCY AND PARTNERSHIP ANALYSIS

(Agency and Partnership VI.; VIII.A., B. & C.)

ANALYSIS

Legal Problems

- (1)(a) If Adam immediately withdraws from the partnership, what are the consequences to him?
- (1)(b) If Adam immediately withdraws from the partnership, what are the consequences to the partnership?
- (2)(a) If Adam gives six months' written notice and then withdraws from the partnership, what are the consequences to him?
- (2)(b) If Adam gives six months' written notice and then withdraws from the partnership, what are the consequences to the partnership?
- (3) If the partnership's business is wound up after Adam's withdrawal, will he be personally liable for any partnership debts incurred during the winding-up process after his withdrawal?

DISCUSSION

Summary

Adam can withdraw from PSS, without complying with the six months' written notice requirement in PSS's partnership agreement, by giving notice of dissociation. But such a notice, although effective, would be wrongful because it would violate the notice requirement set forth in the partnership agreement. Thus, Adam would be liable to the partnership and to Beth and Chris for damages caused by Adam's wrongful dissociation. Further, Adam would not be able to force the cessation of the operations of PSS and a sale of partnership assets. Beth and Chris may vote to buy out Adam's interest and continue operations instead. Even if Adam's dissociation did lead to a sale of partnership assets, Adam would not be able to participate in the winding-up process.

On the other hand, if Adam gives the six months' notice required under PSS's partnership agreement, Adam's withdrawal would dissolve the partnership and force the winding up of PSS and the sale of the partnership assets. Adam could participate in that process but could not dictate the terms of the sale.

If the partnership business is wound up, Adam would be liable as a partner for liabilities appropriately incurred during the winding-up period whether or not he gives notice properly.

[NOTE: The following jurisdictions have enacted the Uniform Partnership Act (1997): Alabama, Alaska, Arizona, Arkansas, California, Colorado, Delaware, DC, Florida, Hawaii, Idaho, Illinois, Iowa, Kansas, Kentucky, Maine, Maryland, Minnesota, Mississippi, Montana,

Nebraska, Nevada, New Jersey, New Mexico, North Dakota, Ohio, Oklahoma, Oregon, South Dakota, Tennessee, Texas, Vermont, Virginia, and Washington. The remaining states have the UPA (1914).]

Point One(a) (25%)

Under the Uniform Partnership Act (1997), Adam can dissociate from PSS without complying with the six months' written notice requirement under PSS's partnership agreement. However, dissociation from the partnership without giving the required six months' notice, although effective, would be wrongful and would make Adam liable for damages. A similar result would follow under the Uniform Partnership Act (1914).

Under the Uniform Partnership Act (UPA) § 601(1) (1997), a partner can dissociate from the partnership at any time by giving notice to the partnership. Thus, Adam can dissociate from the partnership by giving the partnership a notice of dissociation. Furthermore, the right to dissociate can be exercised by the dissociating partner at any time even if the exercise of the power to dissociate was wrongful. Dissociation is wrongful if it is done in contravention of the terms of the partnership agreement. *Id.* § 602(a), cmt. 1, § 602(b)(1).

Here, Adam's dissociation would be wrongful because the partnership agreement requires the giving of six months' written notice. Because Adam's dissociation would be wrongful, Adam would be liable to the partnership and to Beth and Chris for any damages caused by his dissociation. UPA § 602(c) (1997). Furthermore, as a wrongfully dissociating partner, Adam could not participate in the winding up of the business. *Id.* § 803(a)

Generally, the provisions of the UPA (1997) are default law that can be modified by the terms of a partnership agreement. However, certain rules cannot be modified. For example, a partnership agreement cannot modify the right to dissociate except to require that a dissociation notice be in writing. *Id.* § 103(b)(6). Therefore, even though the PSS partnership agreement requires that a partner give six months' written notice before the partnership can be dissolved, Adam can effectively dissociate from PSS. And, because Adam's dissociation would be wrongful, Adam would be liable to the partnership and to Beth and Chris for any damages caused by his dissociation. *Id.* § 602(c).

The result is similar under the Uniform Partnership Act of 1914. While that act does not recognize a concept of dissociation as that term is used in UPA (1997), it does recognize the right of a partner to dissolve a partnership. A dissolution is the "change in the relation of the partners caused by any partner ceasing to be associated in the carrying on as distinguished from the winding up of the business." Uniform Partnership Act (UPA) § 29 (1914). Dissolution of a partnership is caused by "the express will of any partner when" as here, there is "no definite term or particular undertaking," specified in the partnership agreement. *Id.* § 31(b).

Under the UPA (1914), if Adam notifies the partners that he no longer wishes to be associated with the partnership, the partnership will be dissolved. As under the UPA (1997), it is irrelevant that Adam's notice is in contravention of the terms in the partnership agreement, such as a requirement, as here, that he gives six months' notice. *Id.* § 31(2). Regardless of whether he complies with the partnership agreement, Adam's notice would result in the partnership's dissolution. But, as under the UPA (1997), if Adam wrongfully caused the partnership to be dissolved in contravention of the terms of the partnership agreement, the other partners have a right to damages for the breach of the partnership agreement. *Id.* § 38(2)(a)(II).

Point One(b) (20%)

Under the Uniform Partnership Act (1997), while Adam may immediately dissociate from the partnership, his wrongful dissociation will not necessarily lead to a dissolution and winding up of PSS. Beth and Chris may elect not to wind up the business but instead to purchase Adam's interest in PSS and continue its operations. A similar result follows under the Uniform Partnership Act (1914).

Under the UPA (1997), which recognizes the partnership as a separate legal entity from its partners, a partner's wrongful dissociation from the partnership does not cause the partnership to be dissolved if the remaining partners waive the right to have the partnership terminated and its business wound up. UPA § 802(b)(1) (1997). Here, because Adam's dissociation would be wrongful (*see* Point One (a)), under Section 802(b), the partnership would be terminated and its business would up unless the remaining partners, Beth and Chris, waived those rights. If they did, the partnership would have to purchase Adam's interest, *see id.* § 701(a), for a buyout price determined in accordance with § 701(b).

If Beth and Chris did not waive the right to wind up the business and terminate the partnership but decided to wind up the business and terminate the partnership, Adam could not participate in that winding-up process. *See* Point One(a). The persons winding up the business, here Beth and Chris, could choose to continue PSS's business for a "reasonable time." *Id.* § 803(c).

Under the UPA (1914), a rightful or wrongful withdrawal results in the dissolution of the partnership. UPA § 31(1) (1914). However, under § 38(2)(b) "[t]he partners who have not caused the dissolution wrongfully, if they all desire to continue the business in the same name, . . . may do so" A partner who has caused the dissolution wrongfully is not granted the same right. *Id.* § 38(2)(c). Thus, Beth and Chris could choose to continue the business. If they did choose to continue the business, Adam would be entitled to receive the value of his interest less the damages he caused by wrongfully causing the partnership's dissolution. *Id.* § 38(2)(c)(II). If Beth and Chris chose not to continue the business, Adam would have the same rights to the partnership property as Beth and Chris would have subject to any damages he would owe them. *Id.* § 38(2)(c)(I).]

Point Two(a) (20%)

Under the Uniform Partnership Act (1997), if Adam gives the required six months' notice, his dissociation would not be wrongful; Adam would be entitled to participate in the dissolution and winding up of PSS (*see* Point Two (b)).

If Adam gives the six months' notice required under PSS's partnership agreement, his dissociation would not be wrongful. *See* UPA § 602(b) (1997). Thus, he would not be liable for damages to either the partnership or Beth or Chris. *See id.* § 602(c). His dissociation would result in dissolution of the partnership with the requirement that the partnership's business be "wound up." *Id.* § 801(1); *see also* § 802(a). Because Adam's dissociation would not be wrongful, he is entitled to participate in the winding up of the partnership. *Id.* § 803(a). Thus, by giving notice as required by the partnership agreement, Adam can force the cessation of operations of PSS and the sale of its assets. Lastly, because his dissociation would not be wrongful, Beth and Chris could not cause a buyout of his interest, nor would he be liable to them for damages. *See id.* § 701(a).

A similar result follows under the Uniform Partnership Act (1914). *See* UPA §§ 37, 38(1) (1914).

Point Two(b)(20%)

If Adam gives the required six months' notice, the partnership will be dissolved and wound up. Although Adam could participate in the winding-up process, Beth and Chris would control that process.

If Adam gives the required six months' notice, PSS will be dissolved and wound up. UPA § 801(1) (1997). Furthermore, Adam can participate in the winding-up process (*see* Point Two (a)). However, Adam is still only one of three partners, all of whom may participate in the winding up. Because no facts suggest that Adam has controlling management authority, Adam may vote to conduct an immediate winding up and sale of assets, but could be consistently outvoted by Beth and Chris should they decide to continue the partnership for a reasonable time after its dissolution. *See generally id.* § 803(c). Thus, Adam cannot force an immediate cessation of operations and sale of partnership assets even if he properly gives notice under the PSS partnership agreement. A similar result should follow under the Uniform Partnership Act (1914). *See* UPA §§ 37, 38(1) (1914).

Point Three (15%)

Partnership obligations appropriately incurred during the winding up process are obligations of all partners including a dissociating partner.

Under Section 804 of the Uniform Partnership Act (1997), the partnership is bound by a partner's act after dissolution if the act was appropriate to the winding up of the partnership. If the partnership is bound, then each partner is liable for his proportionate share of the liability. *See* UPA § 806 (1997); *see also* UPA § 306 (1997) ("all partners are liable jointly and severally for all obligations of the partnership"). Thus, a dissociating partner, whether the dissociation was rightful or wrongful, cannot avoid liability for partnership debts incurred during the winding up process.

A similar result follows under the UPA § 35(1) (1914). As to contractual debts, however, the partners' liability is only joint, not joint and severable. UPA § 15(b) (1914).

February 2012
MEE Questions
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* Used as one of the six questions on the February 2012 Uniform Bar Examination in Alabama, Colorado, Idaho, Missouri, and North Dakota.

Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the February 2012 MEE. Each test includes nine 30-minute questions; user jurisdictions may elect which of the nine questions they wish to use. (The MEE is a component of the Uniform Bar Examination [UBE]. Jurisdictions administering the UBE use a common set of six MEE questions as part of their bar examinations.) In the actual test, the questions are simply numbered rather than being identified by area of law. The instructions for the test appear on page iii. For more information, see the *MEE Information Booklet*, available on the NCBE website at www.ncbex.org.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, followed by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Federal Civil Procedure/Conflict of Laws question on the February 2012 MEE tested the following areas from the Federal Civil Procedure outline: I.A.1., Jurisdiction and venue—subject matter jurisdiction—federal courts; I.E., Jurisdiction and venue—venue, forum non conveniens, and transfer; and II.A., Law applied by federal courts—state law in federal court; and the following areas from the Conflict of Laws outline: II.D.1.a., Jurisdiction of courts—limits on exercise of jurisdiction—traditional limitations—choice of forum by agreement; and III.F.2., Choice of law—federal-state conflicts—*Erie* doctrine. Subject matter outlines are included in the *MEE Information Booklet*.

Description of the MEE

The MEE consists of nine 30-minute essay questions, any of which a jurisdiction may select to include as part of its bar examination. (UBE jurisdictions use a common set of six MEE questions as part of their bar examinations.) It is administered by participating jurisdictions on the Tuesday before the last Wednesday in February and July of each year. The areas of law that may be covered by the questions on any MEE are Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Conflict of Laws, Constitutional Law, Contracts, Criminal Law and Procedure, Evidence, Family Law, Federal Civil Procedure, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Uniform Commercial Code (Negotiable Instruments and Bank Deposits and Collections; Secured Transactions). Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction

between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Answer all questions according to generally accepted fundamental legal principles unless your jurisdiction has instructed you to answer according to local case or statutory law.

February 2012 MEE

► *QUESTIONS*

Evidence

Negotiable Instruments

Contracts

Torts

Decedents' Estates

Agency and Partnership

Federal Civil Procedure/Conflict of Laws

Real Property

Corporations

EVIDENCE QUESTION

Six months ago, a woman was taken to a hospital following what she alleged was a sexual assault by a man during a fraternity party. The woman and the man were both seniors attending the college where the party was held.

At the time of the alleged assault, the hospital's policy required that "in all cases of alleged or suspected sexual assault, non-emergency patients must be interviewed by a victim counselor before receiving medical treatment." The woman was deemed a non-emergency patient and was told to wait in the waiting room to see a victim counselor. Three hours later, the victim counselor finally interviewed the woman. Thereafter, hospital personnel treated the woman for her injuries and sent her home.

There was no contact between the woman and the man until one week later, when the man sent the woman a text message on her cell phone. The text message said, "If you are upset about what happened, I can send you a check for \$10,000 to help you forget the whole thing. I can also pay any medical expenses." The woman did not respond.

Four months after the alleged assault, the woman contacted a lawyer and filed a civil action against the man and the hospital. She sought damages from the man for physical injuries resulting from the alleged assault. She also sought damages from the man for psychological injuries. According to the woman, these injuries were especially traumatic because of her belief in sexual abstinence before marriage and her lack of prior sexual experience. She sought damages from the hospital for exacerbating her injuries by negligently delaying her medical treatment.

The man filed an answer admitting that he had had sexual relations with the woman but asserting that they were consensual. In its answer, the hospital denied that its conduct had exacerbated the woman's injuries.

Immediately after filing its answer, the hospital contacted the woman and offered to settle the claim for \$5,000. The woman refused the hospital's offer.

Five weeks after the woman filed her suit, the hospital changed its policy on dealing with sexual assault victims to provide that "in all cases of alleged or suspected sexual assault, immediate medical care will be provided to emergency and non-emergency patients."

The woman's suit against the man and the hospital is now set for trial. The following properly filed motions are before the court:

1. The hospital's motion to exclude evidence of its new policy providing immediate medical treatment to emergency and non-emergency patients in all cases of alleged or suspected sexual assault.
2. The hospital's motion to exclude evidence of its offer to settle with the woman.
3. The man's motion to exclude evidence of
 - (a) his offer to pay the woman \$10,000.
 - (b) his offer to pay the woman's medical expenses.
4. The man's motion to admit evidence that the woman had sexual relations with another student during her junior year.

The rules of evidence in this jurisdiction are identical to the Federal Rules of Evidence.

How should the court rule on each of these motions? Explain.

NEGOTIABLE INSTRUMENTS QUESTION

On September 1, Ned bought 1,000 liters of an industrial chemical from Steve for the price of \$20 per liter, for a total of \$20,000. Steve convinced Ned to buy the chemical by falsely telling Ned that Steve's company would soon announce a new use for the chemical that would dramatically increase its market price. Because Ned did not have \$20,000 in cash available, Steve accepted as payment a negotiable promissory note for \$20,000. When Ned gave the note to Steve, it was signed on the front by Ned (as maker of the note) and indorsed on the back by Ned's Uncle. Ned's Uncle had indorsed the note as a favor to Ned to help induce Steve to take the note rather than insisting on payment in cash. The note stated that it was payable to the order of Steve and that it was payable on November 15.

On October 14, Steve, who was nervous not only about Ned's ability to pay the amount of the note but also about the prospect that his representation to Ned might soon be exposed as false, sold the note to Cal for \$19,000. Cal was an honest businessman who had never dealt with Steve before and was unaware of any of the facts surrounding the sale of the chemical by Steve to Ned. Steve told Cal that Ned was an excellent risk but that he (Steve) was unable to wait until November 15 for payment. To effectuate the sale, Steve indorsed the note by signing his name below Uncle's indorsement and handed the note to Cal. Cal then handed Steve \$19,000 in cash.

On October 15, Cal read an article in a local newspaper revealing that Steve was a con artist who had convinced several people, including Ned, to buy the chemical based on false claims of imminent increases in its market price.

On November 1, Cal used the note as partial payment for a new car he contracted to buy from Dealer, handing the note to Dealer without indorsing it. The contract to buy the car provided that the car would not be delivered to Cal until December 1.

On November 15, Dealer, who had not yet delivered the car to Cal, presented the note to Ned. Ned refused to pay and told Dealer that he had been induced to issue the note by Steve's lie. Dealer did not sue Ned because Dealer did not believe that Ned would be able to satisfy a judgment against him. Dealer then gave timely notice to Uncle of Ned's refusal to pay and sued Uncle on the note.

Will Dealer be successful in his suit against Uncle? Explain.

CONTRACTS QUESTION

GreenCar owns a fleet of 10 identical energy-efficient, electric “green” cars that it rents out for special events. GreenCar is the only company that has such specialized cars available for rental. GreenCar needed all 10 of its cars to fulfill a contract to provide 10 identical green cars to carry dignitaries in the local Earth Day parade on April 22, but each of the cars needed repair to be operable for the parade.

In order to have all 10 cars repaired in time for the parade, GreenCar entered into a contract with RepairCo pursuant to which RepairCo promised to “repair all 10 cars and return them to GreenCar no later than April 21 for \$1,000 per car, \$10,000 total.”

On April 21, RepairCo had completed repairs on only 6 of the 10 cars and returned those 6 cars to GreenCar. When RepairCo delivered the 6 cars, it informed GreenCar that the remaining 4 cars were not ready because RepairCo workers had walked off the job when salary negotiations broke down. RepairCo also explained to GreenCar that it planned to give its workers the raises they wanted, but it first wanted “to teach them a lesson.” RepairCo estimated that the remaining 4 GreenCar cars (all still inoperable) would be repaired by April 30.

GreenCar demanded that RepairCo return the remaining 4 unrepaired cars immediately. RepairCo did so. GreenCar refused to pay RepairCo for any repairs to the other 6 cars.

RepairCo sued GreenCar, alleging that GreenCar’s refusal to pay anything was a breach of contract.

Is RepairCo entitled to any payment from GreenCar, and if so, under what theory or theories? Explain.

TORTS QUESTION

Paul, age eight, and Paul's mother, Mom, spent the morning at Funworld, an amusement park. Paul decided to ride the Ferris wheel. Mom, who was pregnant and tired, waited for him about 100 yards away.

After Paul entered a Ferris wheel car, the attendant, Employee, fastened the car's safety bar. As the Ferris wheel began to turn, Paul could hear loud screams from a car carrying two boys, both age six. The boys were rocking their car vigorously. Employee also heard the two boys screaming and saw them rocking their car, but Employee took no action to stop them.

As Paul's car began to descend from the top of the wheel, the two boys—whose car was right behind Paul's car—shook the safety bar on their car hard enough that it unlatched. Both boys fell to the ground. One of the boys struck Paul on his way down.

After the two boys fell, Employee stopped the Ferris wheel and sounded an emergency alarm to notify Funworld security guards of the incident.

Mom did not see the accident, but she heard the alarm and rushed to the Ferris wheel. A crowd had already gathered, and Mom was unable to see Paul. A bystander told Mom that "a little boy has been killed." Mom, panic-stricken, attempted to make her way through the crowd but could not.

Ten minutes later, the two boys who had fallen were taken to the hospital by an ambulance.

Paul and several of the other passengers begged to be taken off the Ferris wheel. Employee, however, refused without any explanation to restart the Ferris wheel. Thirty minutes later, a manager showed up and ordered Employee to restart the Ferris wheel and allow the passengers to exit.

Forty minutes after the accident, Mom was finally reunited with Paul. Both Paul and Mom went to the hospital, where Paul was treated for minor injuries caused by being hit when the two boys fell and where Mom suffered a miscarriage as a result of accident-related stress.

National accident records show that during the last 40 years, there has been only one other incident in which injuries have occurred as a result of passengers rocking a Ferris wheel car.

Paul and Mom have sued Funworld. Funworld has conceded that Employee was acting within the scope of his employment.

Based on the facts, could a jury properly find that

1. Funworld falsely imprisoned Paul? Explain.
2. Funworld was negligent because Employee failed to take action to stop the boys from rocking their car? Explain.
3. Mom is entitled to damages for her emotional distress and resulting miscarriage? Explain.

DECEDENTS' ESTATES QUESTION

Five years ago, Testator asked her attorney to draft a will that would leave Testator's entire estate to Nephew. One week later, the attorney mailed to Testator a document captioned "Last Will and Testament." Although the document complied with Testator's instructions, Testator did not sign it or have it witnessed.

Three years ago, Testator called her attorney and said, "I want my 400 shares of XYZ Corporation common stock to go to Aunt instead of Nephew." Testator added, "I also want my home to go to Cousin. The house has five bedrooms, and Cousin has such a large family." Testator told the attorney that her home was located at 340 Green Avenue, Springfield, State A.

Subsequently, the attorney sent Testator a document stating in its entirety:

I, Testator, being of sound and disposing mind, give my home, located at 340 Green Avenue, Springfield, State A, to Cousin and my 400 shares of XYZ Corporation common stock to Aunt. In all other respects, I republish my will.

Upon receipt of this document, Testator properly executed it.

Two years ago, Testator sold her five-bedroom house at 340 Green Avenue and used the proceeds to purchase a two-bedroom house located at 12 Elm Street in Springfield. The same year, Testator received 200 shares of XYZ common stock from XYZ Corporation in the form of a "dividend paid in stock."

Three weeks ago, Testator died. Her probate estate consists of \$200,000, her house at 12 Elm Street, and 600 shares of XYZ Corporation common stock, consisting of Testator's original 400 shares and the 200-share stock dividend.

Testator is survived by Daughter, Daughter's child (Grandson), Nephew, Cousin, and Aunt.

Fifteen years ago, Daughter was convicted of murdering her father, Testator's husband. Testator and Daughter have had little contact since Daughter's conviction, and Daughter remains in prison.

Testator is a resident of State A, and all of Testator's assets are located in State A.

How should Testator's probate assets be distributed? Explain.

AGENCY AND PARTNERSHIP QUESTION

A man and a woman validly formed a partnership (“Garden Partnership”) to fix commercial gardening equipment. Several months after Garden Partnership began operations, it hired an employee who was a skilled mechanic.

The employee negligently repaired a piece of equipment for a customer. As a result, the customer was severely injured. The customer successfully sued Garden Partnership and recovered a judgment for \$500,000, which has not been paid.

Shortly after entry of this judgment, the man and woman took the necessary steps to qualify Garden Partnership as a limited liability partnership, and they renamed it “Garden LLP.”

Shortly thereafter, the man and woman decided to expand the business. Because they needed more capital, they agreed to admit an investor as a partner. The investor contributed \$50,000 and became a partner in Garden LLP.

1. Is Garden LLP liable for the \$500,000 judgment against Garden Partnership? Explain.
2. Are the man and woman personally liable to the customer for the \$500,000 judgment against Garden Partnership? Explain.
3. Is the investor personally liable to the customer for the \$500,000 judgment against Garden Partnership? Explain.

FEDERAL CIVIL PROCEDURE/CONFLICT OF LAWS QUESTION

The owner of a rare antique tapestry worth more than \$1 million is a citizen of State A. The owner contacted a restorer, a citizen of State B, to restore the tapestry for \$100,000. The owner and the restorer met in State A and negotiated a contract, but the final documents, prepared by the parties' respective attorneys, were drafted and signed in State B. The contract has a forum-selection clause that specifies that any litigation arising out of or relating to the contract must be commenced in State B.

The restorer repaired the tapestry in State B and then informed the owner that the restoration was complete. The owner picked up the tapestry and paid the restorer \$100,000. Subsequently, the owner discovered that the restorer had done hardly any work on the tapestry.

Despite the forum-selection clause in the contract, the owner filed suit against the restorer in a state court in State A, claiming breach of contract. The owner's suit sought rescission of the contract and a return of the full contract price—\$100,000.

The laws of State A and State B are different on two relevant points. First, State A courts do not enforce forum-selection clauses that would oust the jurisdiction of State A courts, regarding such clauses as against public policy; State B courts always enforce forum-selection clauses. Second, State A would allow contract rescission on these facts; State B would not allow rescission but would allow recovery of damages.

Under the conflict-of-laws rules of both State A and State B, a state court would apply its own law to resolve both the forum-selection clause issue and the rescission issue.

After the owner filed suit in State A court, the restorer removed the case to the United States District Court for the District of State A and then moved for a change of venue to the United States District Court for the District of State B, citing the contractual forum-selection clause in support of the motion. (There is only one United States District Court in each state.) The owner moved for remand on the ground that the federal court did not have removal jurisdiction over the action. Alternatively, the owner argued against the motion to transfer on the basis that the forum-selection clause was invalid under State A law.

1. Does the federal court in State A have removal jurisdiction over the case? Explain.
2. Should the change-of-venue motion, seeking transfer of the case to the federal court in State B, be granted? Explain.
3. Would a change of venue affect the law to be applied in resolving the rescission issue? Explain.

REAL PROPERTY QUESTION

Blackacre, which is immediately to the west of Whiteacre, is bounded on its west by a state highway. Whiteacre is bounded on the east by a county road. Both roads connect to a four-lane highway.

Twenty years ago, Tom, who then owned Blackacre, sold to Sue, who then owned Whiteacre, an easement over a private gravel road that crossed Blackacre. This easement allowed Sue significantly better access to the four-lane highway from Whiteacre than she had had using only the county road adjacent to Whiteacre. The easement was promptly and properly recorded.

After acquiring this easement, Sue discontinued using the county road to the east of Whiteacre and used the private gravel road crossing Blackacre to travel between Whiteacre and the four-lane highway. Sue used the private gravel road across Blackacre for that purpose almost every day for the next 18 years.

Fifteen years ago, Sue purchased Blackacre from Tom. The deed from Tom to Sue was promptly and properly recorded.

Two years ago, Sue sold Whiteacre to Dan. The deed from Sue to Dan, which was promptly and properly recorded, did not mention the private gravel road crossing Blackacre, although Dan was aware that Sue had used the road to more easily access the four-lane highway.

Following the purchase of Whiteacre, Dan obtained a construction loan from Bank secured by a mortgage on Whiteacre. This mortgage was promptly and properly recorded. The loan commitment, in the amount of \$1,500,000, which was reflected in the mortgage, obligated Bank to loan Dan \$300,000 immediately. It further obligated Bank to loan Dan an additional \$500,000 in 180 days and \$700,000 in 280 days.

After obtaining the second loan installment from Bank, Dan realized that he would need additional funds and borrowed \$400,000 from Finance Company. This loan was also secured by a mortgage on Whiteacre. Upon Dan's signing the note and mortgage, Finance Company immediately remitted the \$400,000 to Dan and promptly and properly recorded its mortgage.

Thereafter, Bank advanced the final \$700,000 loan installment to Dan.

Recently, Dan defaulted on the loans from both Bank and Finance Company. At the time of these defaults, Dan owed \$1,500,000 to Bank and \$400,000 to Finance Company.

At a proper foreclosure sale by Bank, Whiteacre was sold for \$1,500,000 net of sale expenses.

1. Immediately before Sue sold Whiteacre to Dan, did Sue have an easement over Blackacre? Explain.
2. Immediately after Sue sold Whiteacre to Dan, did Dan have an easement over Blackacre? Explain.
3. How should the proceeds from the sale of Whiteacre be distributed between Bank and Finance Company? Explain.

CORPORATIONS QUESTION

A corporation's articles of incorporation state that the corporation shall have a seven-member board of directors. Neither the articles of incorporation nor the corporation's bylaws contain any special provisions regarding the board of directors.

On March 1, the corporation's president told its secretary to convene a special meeting of the board of directors. Accordingly, the secretary prepared a Notice of Special Meeting (Notice) and sent it by overnight mail to six of the seven directors. The secretary did not send the Notice to the seventh director — Claire — because Claire had recently moved and the corporation did not have a current mailing address for her.

The Notice stated only that a special meeting of the corporation's board of directors would be held on March 31 at 10 a.m., at the corporate headquarters.

On March 2, each member of the board of directors except Claire received the Notice. Directors Alan and Barb, both of whom had vacation plans for March 31, made arrangements with the secretary to participate in the special meeting by telephone.

On March 30, Alan called Claire and informed her that a special meeting of the board of directors was going to be held on March 31.

On March 31, five members of the board of directors (including Claire but neither Alan nor Barb) gathered in the corporation's conference room. Alan and Barb called in from their vacation homes. The five directors present in the conference room could hear both Alan and Barb. Alan and Barb could each hear the five directors in the conference room but could not hear each other.

After a lengthy discussion, the board of directors voted 4–3 to approve the corporation's purchase of a major asset. Alan and Barb both voted to approve the purchase.

Claire, who voted against the purchase, is very upset and has brought an action seeking an injunction to prevent the purchase of the asset. Claire asserts that the board of directors did not properly approve the purchase of the asset.

Did the board of directors properly approve the purchase of the asset? Explain.

February 2012 MEE

► *ANALYSES*

Evidence

Negotiable Instruments

Contracts

Torts

Decedents' Estates

Agency and Partnership

Federal Civil Procedure/Conflict of Laws

Real Property

Corporations

EVIDENCE ANALYSIS

(Evidence II.A.1.; III.G., H., I.)

ANALYSIS

Legal Problems

- (1) Should the court admit evidence of the hospital's subsequent remedial measures when those measures would have prevented or mitigated the woman's injuries if they had been in place at the time of the alleged tortious conduct?
- (2) Should the court admit evidence of the hospital's offer to pay the woman when that offer was made after her lawsuit had been filed?
- (3)(a) Should the court admit evidence of the man's offer to pay the woman when the offer was made before the woman's claim was in dispute?
- (3)(b) Should the court admit evidence of the man's offer to pay the woman's medical expenses?
- (4) Should the court admit evidence of the woman's past sexual relations in a civil suit alleging that she was sexually assaulted?

DISCUSSION

Summary

While evidence of the hospital's subsequent remedial measures may be relevant to a determination of its liability for the woman's physical and psychological injuries, this evidence is inadmissible because subsequent remedial measures that would have made an injury less likely to occur are not admissible to prove negligence or other culpable conduct.

Although evidence of the hospital's offer to settle with the woman may be relevant to a determination of the hospital's negligence, settlement offers are inadmissible to prove negligence.

Evidence of the man's offer to pay the woman \$10,000 may be relevant to a determination of his liability. This evidence is admissible because his offer was made before the woman's claim was disputed and before she filed her civil suit.

Evidence of the man's offer to pay the woman's medical expenses may be relevant to a determination of his liability. However, this evidence is inadmissible because evidence of an offer to pay medical and other similar expenses caused by an injury is inadmissible to prove liability for the injury.

Evidence that the woman has engaged in sexual relations in the past with another student should be admitted. This evidence has significant probative value because the woman has specifically alleged psychological injuries attributable to her belief in abstinence before marriage and her lack of prior sexual experience. On these facts, the court should find that the probative value of this evidence "substantially outweighs" the potential harm that could inure to the woman when the jurors hear evidence that she engaged in sexual relations with another student.

Point One (20%)

The court should exclude evidence of the hospital's subsequent remedial measures.

Evidence is relevant if it has “any tendency to make a fact” either “more or less probable than it would be without the evidence.” FED. R. EVID. 401 (as amended December 1, 2011). “Relevant evidence is admissible,” unless it is inadmissible pursuant to some other rule. FED. R. EVID. 402. The woman has alleged that the hospital caused the exacerbation of her injuries by negligently delaying her medical treatment for three hours pursuant to its then-existing standard policy. The hospital’s decision to change its policy and provide immediate treatment to all sexual assault victims suggests that it has concluded that its old policy was inappropriate. This may be relevant to the woman’s claim that the hospital’s decision to deny her immediate treatment was negligent.

However, evidence of the policy change is nonetheless inadmissible. Rule 407 of the Federal Rules of Evidence provides that “[w]hen measures are taken that would have made an earlier injury or harm less likely to occur, evidence of the subsequent measures is not admissible to prove negligence.” FED. R. EVID. 407. Here, the hospital’s policy change is a subsequent measure that could have made the woman’s alleged injury less likely had the policy been in place at the time she visited the hospital. The woman wishes to introduce evidence of the policy change to establish that the hospital’s behavior pursuant to its prior policy was negligent. There are no facts indicating that this evidence is relevant to prove anything other than the hospital’s negligence in this case. But such evidence, even when relevant, is excluded based on “a social policy of encouraging people to take, or at least not discouraging them from taking, steps in furtherance of added safety.” FED. R. EVID. 407 advisory committee’s note. *See Werner v. Upjohn Co., Inc.*, 628 F.2d 848, 857 (4th Cir. 1980) (explaining that Rule 407 is intended to guard against the fact that people “would be less likely to take subsequent remedial measures if their repairs or improvements would be used against them in a lawsuit”).

Point Two (20%)

The court should exclude evidence of the hospital's offer to settle with the woman.

Evidence of the hospital’s offer to settle with the woman may be relevant to a determination of its negligence because this evidence has some tendency to make it more probable that the hospital engaged in negligent conduct. FED. R. EVID. 401. However, the Federal Rules of Evidence bar evidence that a party “furnish[ed] or promis[ed] or offer[ed] . . . a valuable consideration in compromising or attempting to compromise the [disputed] claim.” FED. R. EVID. 408. Rule 408 excludes settlement offers and statements made during settlement negotiations. Evidence of offers to settle “disputed claim[s]” is excluded based on “the promotion of the public policy favoring the compromise and settlement of disputes.” FED. R. EVID. 408 advisory committee’s note.

Here, the hospital’s offer to settle with the woman falls squarely within this rule and should be excluded from evidence. Its offer was an effort to settle with the woman. Because the offer was made after the woman filed her claim, it was made at a time when her “claim was disputed as to validity or amount.” She seeks to admit the offer to help prove the hospital’s liability for her claim. Rule 408 bars admission of the evidence under these circumstances.

[NOTE: In their discussion of this issue and of Point Three, some examinees might discuss whether any out-of-court statements by the man or the hospital would be excluded from evidence by the hearsay rule. In this case, the hearsay rule would not exclude these statements because they were made by an opposing party. FED. R. EVID. 801(d)(2). A statement by the man is “an opposing party’s statement.” *Id.* A statement by the hospital is either a statement “made by a person whom the party authorized to make a statement on the subject,” FED. R. EVID. 801(d)(2)(C), or a statement “made by the party’s agent or

employee on a matter within the scope of that relationship and while it existed.” FED. R. EVID. 801(d)(2)(D).]

Point Three(a) (20%)

The court should admit evidence of the man’s offer to pay the woman \$10,000.

Evidence of the man’s statement “If you are upset about what happened, I can send you a check for \$10,000 to help you forget the whole thing” may be relevant to a determination of his liability. This evidence has some tendency to make it more probable that the man believed that the woman might have some valid basis for filing a complaint against him. FED. R. EVID. 401. The question is whether this offer to the woman, like the hospital’s offer, is barred from admission by Rule 408.

As noted above, an offer to compromise is barred from admission only if it is made in response to a “disputed claim.” FED. R. EVID. 408. In this instance, the man made his offer to the woman almost four months before she filed this suit. Rule 408 excludes settlement offers and statements made during settlement negotiations. Although Rule 408 does not require that a lawsuit be filed, here the man made his offer before the woman had made any claim at all against him, much less a “disputed claim,” and therefore his offer is not excluded under Rule 408.

Point Three(b) (20%)

The court should exclude evidence of the man’s offer to pay the woman’s medical expenses.

Evidence of the man’s offer to pay the woman’s medical expenses is probably relevant, but the court should nonetheless exclude the evidence. Federal Rule 409 precludes admission of “[e]vidence of furnishing, promising to pay, or offering to pay medical . . . expenses resulting from an injury . . . to prove liability for the injury.” FED. R. EVID. 409. Such evidence is excluded because “such payment or offer is usually made from humane impulses and . . . to hold otherwise would tend to discourage assistance to the injured person.” FED. R. EVID. 409 advisory committee’s note (*quoting* 20 A.L.R. 2d 291, 293). Unlike Rule 408, Rule 409 does not require that the statement be made in response to a disputed claim.

Point Four (20%)

The court should admit evidence of the woman’s past sexual behavior because the probative value of the evidence substantially outweighs the danger of harm to her.

In any “civil or criminal proceeding involving alleged sexual misconduct,” the “Rape Shield” rule of the Federal Rules of Evidence generally bars the admission of “evidence offered to prove that a victim engaged in other sexual behavior.” FED. R. EVID. 412(a). The purpose of the rule is “to safeguard the alleged victim against the invasion of privacy, potential embarrassment and sexual stereotyping that is associated with public disclosure of intimate sexual details and the infusion of sexual innuendo into the fact finding process.” FED. R. EVID. 412 advisory committee’s note.

However, in civil cases, Federal Rule of Evidence 412 permits the admission of otherwise inadmissible evidence of an alleged victim’s sexual behavior “if its probative value substantially outweighs the danger of harm to any victim.” FED. R. EVID. 412(b)(2). In this case, evidence of the woman’s past sexual behavior with another student has significant probative value because the woman has specifically alleged psychological injuries attributable to her belief in abstinence before marriage and her lack of prior sexual experience. Here, the court is likely to find that the probative value of this evidence “substantially outweighs” the potential harm that could inure to the woman when the jurors learn that she previously had sexual relations with another student.

NEGOTIABLE INSTRUMENTS ANALYSIS

(Negotiable Instruments II.; III.; IV.; V.)

ANALYSIS

Legal Problems

- (1) Does Dealer have a claim against Uncle?
- (2) Does the fact that Uncle received no consideration for his indorsement give him a defense?
- (3) Can Uncle assert Ned's defense that he was induced to enter into the transaction and issue the note because of Steve's misrepresentation?
- (4) Can Uncle's defense be raised successfully against Dealer?

DISCUSSION

Summary

Dealer is likely to be successful in his action against Uncle. Dealer, who is the holder of the note and thus a person entitled to enforce it, will sue Uncle based on his indorser's obligation. Because Uncle is an accommodation party, the lack of consideration for his indorsement is not a defense. Although Uncle has no defenses of his own, because he is an accommodation party he is permitted to raise Ned's defense that he was induced to enter into the transaction by Steve's misrepresentation. This defense will not be successful against a person who has the rights of a holder in due course. Thus, it is necessary to determine whether Dealer is such a person. Although Dealer is not a holder in due course because he did not take the note for value as defined in UCC Article 3 (the unperformed promise to deliver the car does not constitute "value"), Dealer has the rights of a holder in due course by transfer from Cal, who was a holder in due course. Accordingly, Dealer is not subject to Uncle's defense, and Uncle is liable to Dealer for the amount of the note.

Point One (15%)

Dealer has a claim against Uncle as an indorser of the note.

If an instrument has been dishonored and notice of dishonor has been given or is excused, an indorser of the instrument is liable to a person entitled to enforce it. UCC §§ 3-415, 3-503. Ned's failure to pay the note constituted dishonor (UCC § 3-502(a)), and Uncle is an indorser of the note. Thus, as long as he has been given notice of dishonor (or such notice is excused), Uncle is liable to a person entitled to enforce the note.

Dealer is a person entitled to enforce the note because he is the holder of the note. UCC § 3-301. Although the note was issued payable to the order of Steve, Dealer, who is in possession of the note, is now the holder because when Steve indorsed the note by signing his name on the

back, the note became a bearer instrument (*see* UCC § 3-205), and anyone in possession of a bearer instrument is a holder. UCC § 1-201(b)(21).

Uncle has been given timely notice of dishonor. As a result, subject to possible defenses (*see* Points Two, Three, and Four), Uncle is liable on the note to Dealer.

Point Two (10%)

Uncle cannot successfully raise as a defense lack of consideration for his indorsement.

Uncle incurred the obligation of an indorser on the note without receiving consideration for incurring that obligation. This lack of consideration would, in most circumstances, be a defense against his liability on the note. UCC § 3-305(a)(2). But in this case, a different rule applies because Uncle is an “accommodation party.” He is an accommodation party because he signed an instrument for the purpose of becoming liable on it, even though he was not a direct beneficiary of the value given for the instrument. UCC § 3-419(a). The obligation of an accommodation party may be enforced whether or not the accommodation party received consideration. UCC § 3-419(b). Accordingly, Uncle cannot raise as a defense the fact that he received no consideration for his indorsement.

[NOTE: An examinee might state that Uncle received consideration because Steve agreed to sell the chemical on credit in exchange for Uncle’s willingness to be liable on the note. The facts do not explicitly indicate such a *quid pro quo*, but an examinee should receive credit for this analysis.]

Point Three (15%)

Uncle can raise as a defense Ned’s claim that he was induced to enter into the transaction by Steve’s misrepresentation.

Parties to an instrument generally are not permitted to assert another party’s defense to liability on the instrument. UCC § 3-305(c). There is an exception to this principle: because Uncle is an accommodation party, he is entitled to raise the defenses of the “accommodated party”—Ned. UCC § 3-305(d). Thus, Uncle would be able to raise, as a defense to his obligation on the note, the defense that Ned would be able to raise—that he was induced to enter into the transaction by Steve’s misrepresentation. As explained in Point Four, however, Uncle will be unsuccessful in this defense because Dealer has the rights of a holder in due course and will be free of that defense.

Point Four(a) (25%)

Ned’s defense of misrepresentation is a “personal” defense that cannot be raised successfully against someone who has the rights of a holder in due course.

Except when a holder in due course is enforcing an instrument, a person liable on the instrument can raise any defense to liability that could be raised against liability on a simple contract. UCC § 3-305(a)(2). Under this principle, Uncle, raising Ned’s defenses (*see* Point 3), could defend on the ground that Ned would not be liable on the promissory note because he was induced to enter into the obligation by Steve’s misrepresentation.

However, this defense would be effective only if the person enforcing the note did not have the rights of a holder in due course. The right of a holder in due course to enforce the obligation of a party to an instrument is subject to the four “real” defenses listed in UCC § 3-305(a)(1) but is not subject to any other defenses (usually referred to as “personal” defenses). The four “real” defenses are (i) infancy; (ii) duress, lack of capacity, or illegality that nullifies the

obligation under other law; (iii) fraud that induced the obligor to sign the instrument with neither knowledge nor reasonable opportunity to learn of its character or essential terms; and (iv) discharge of the obligor in insolvency proceedings. The defense that Ned was induced to enter into the transaction by Steve's misrepresentation is not a real defense listed in UCC § 3-305(a)(1). Accordingly, if Dealer has the rights of a holder in due course, Dealer will not be subject to the defense.

Point Four(b) (35%)

Although Dealer is not a holder in due course, Dealer has the rights of a holder in due course under the shelter principle of negotiable instruments law and thus is not subject to Uncle's defense.

Dealer is not a holder in due course of the note. This is because one of the criteria under UCC § 3-302(a) that must be satisfied for a person to be a holder in due course is that the person must have taken the instrument for "value." As that term is defined in Article 3 of the UCC, an unperformed promise does not constitute value. UCC § 3-303. Accordingly, because Dealer has not yet delivered the car to Cal, he did not take the note for value. Thus, Dealer is not a holder in due course. (This is the case even if Dealer took the note without notice of Steve's misrepresentation.)

However, when Cal owned the instrument, he was a holder in due course. This is because Cal was a holder of the instrument and satisfied the other requirements listed in UCC § 3-302(a). Cal was a holder because he was in possession of a bearer instrument (*see* Point One). In addition, Cal satisfied the other elements of UCC § 3-302: he gave value by paying \$19,000 for the note, took the note in good faith (honesty in fact and the observance of reasonable commercial standards of fair dealing, UCC § 1-201(b)(20)), and took the note without notice of any claims or defenses to it or that it was overdue. Although Cal subsequently learned of Steve's misrepresentation, holder-in-due-course status is determined at the time the instrument is negotiated and value is given. In this case, that was October 14, and Cal did not receive notice of the misrepresentation until the next day. Therefore, Cal was a holder in due course.

When Cal transferred the note to Dealer, Dealer obtained Cal's rights as a holder in due course. This is because of the "shelter principle" of UCC Article 3: "transfer of an instrument . . . vests in the transferee any right of the transferor to enforce the instrument, including any right as a holder in due course." UCC § 3-203(b). As a result, Dealer has the same rights as Cal. As a holder in due course, Cal would not have been subject to Uncle's defense based on Steve's misrepresentation. Therefore, Dealer is not subject to Uncle's defense and is entitled to payment of \$20,000 from him.

CONTRACTS ANALYSIS

(Contracts IV.A.3., E.; V.A., G.)

ANALYSIS

Legal Problems

- (1) Did RepairCo substantially perform its contractual obligations by the contract due date?
- (2) Can RepairCo recover some portion of the contract price on the theory that the contract was divisible?
- (3) Can RepairCo recover some portion of the contract price as restitution for part performance?

DISCUSSION

Summary

RepairCo neither fully nor substantially performed its contractual obligations. Therefore, RepairCo is not entitled to recover the full contract price. However, RepairCo may be entitled to recover some portion of the contract price if the contract is divisible. If the contract is not divisible, RepairCo may be entitled to restitution for part performance.

Point One (50%)

RepairCo did not substantially perform its contractual obligations when it repaired only 6 of the required 10 cars by the contract due date.

RepairCo did not fully perform its contractual obligations. However, RepairCo might argue that it substantially performed its obligations under the contract and therefore is entitled to recover on that contract. Substantial performance is present when a party completes its contractual obligations with “no uncured material failure.” RESTATEMENT (SECOND) OF CONTRACTS § 237. Whether a failure to perform is material depends on several factors, including (1) the extent to which the injured party will be deprived of the benefit he reasonably expected, (2) the extent to which the injured party can be adequately compensated for the part of that benefit of which he will be deprived, (3) the extent to which the other party failing to perform or to offer to perform will suffer forfeiture, (4) the likelihood that the party failing to perform will cure his failure, and (5) the extent to which the behavior of the party failing to perform comports with standards of good faith and fair dealing. *Id.* § 241.

Here, because its failure to perform was a material breach, RepairCo did not substantially perform. First, it repaired only 6 of the 10 vehicles, thereby denying GreenCar a material portion of the benefit GreenCar reasonably expected. GreenCar could not make other arrangements to obtain that lost material benefit (the use of 4 “green” cars on April 22) because it was the only company with the specialized cars, and GreenCar was not aware until April 21 that only 6 of the 10 cars had been repaired. Second, while GreenCar might be compensated in damages for some of the harm caused by not having a full fleet of vehicles for the Earth Day parade, it could not be compensated for such non-economic harms as lost reputation. Third, RepairCo will not suffer forfeiture—it will

not have to undo any work done and might recover some amount for the work it completed (*see* Points Two and Three). Fourth, RepairCo cannot cure its failure because the contract required it to deliver 10 cars on April 21, which it did not and cannot do. Finally, RepairCo's failure to perform likely did not comport with standards of good faith and fair dealing. This is because it allowed the work stoppage to continue so that it could teach its workers a lesson, rather than accepting their terms, as it intended to do eventually, and completing the contract.

Because RepairCo failed to substantially perform its contractual obligations, GreenCar is excused from its obligation to pay on the contract. "Where a contract is made to perform work and no agreement is made as to payment, the work must be substantially performed before payment can be demanded." *Stewart v. Newbury*, 115 N.E. 984, 985 (N.Y. 1917). Here, the facts do not indicate that progress payments or periodic payments were negotiated or agreed to. Thus, RepairCo is not entitled to recover on the entire contract on the theory of substantial performance.

Point Two (25%)

If RepairCo establishes that the contract with GreenCar is divisible, RepairCo may be entitled to recover an amount less than the full \$10,000 contract price.

If RepairCo's performance is divisible, RepairCo may be entitled to some payment. *See Gill v. Johnstown Lumber Co.*, 25 A. 120 (Pa. 1892). A contract is said to be divisible if the performances to be exchanged can be divided into corresponding pairs of part performances in such a way that a court will treat the elements of each pair as if the parties had agreed they were equivalents. E. ALLAN FARNSWORTH, FARNSWORTH ON CONTRACTS § 8.13 (3d ed. 2004). Here, RepairCo could argue that although the contract stated one total contract price (\$10,000), the contract also stated an amount per vehicle. Thus, the total payment could easily be divided among the 10 very similar vehicles, which required similar work, with each car repair corresponding to \$1,000 of GreenCar's payment. RepairCo could argue, therefore, that it is entitled to 6/10 of the \$10,000, or \$6,000, less any additional incidental or consequential losses resulting from its failure to repair the remaining 4 cars on April 21.

GreenCar could argue, however, that the contract is not divisible. GreenCar needed all 10 cars to meet its contractual obligation to supply 10 cars for the local Earth Day parade. "[T]here is no set formula which furnishes a foolproof method for determining in a given case just which contracts are severable and which are entire." *John v. United Advertising*, 439 P.2d 53, 56 (Colo. 1968). Thus, it is possible, but far from certain, that RepairCo could recover some part of the contract price from GreenCar on the theory that the contract is divisible.

Point Three (25%)

Even if the contract is not divisible, RepairCo may be entitled to restitution from GreenCar for the benefit it conferred in part performance.

Even if the contract is not divisible and RepairCo cannot recover on the contract, RepairCo may be entitled to some recovery from GreenCar as restitution for part performance so that GreenCar is not unjustly enriched. A party "is entitled to restitution for any benefit that he has conferred by way of part performance...in excess of the loss that he has caused by his own breach." RESTATEMENT (SECOND) OF CONTRACTS § 374(1); *Lancellotti v. Thomas*, 491 A.2d 117 (Pa. Super. Ct. 1985). RepairCo partially performed by delivering 6 of GreenCar's vehicles with the work done on the contract due date. Thus RepairCo may be entitled to restitution for the work done on those cars, less any additional incidental or consequential losses resulting from its failure to repair the remaining 4 cars on April 21. [NOTE: An examinee might properly refer to this form of possible recovery as either unjust enrichment or *quantum meruit*.]

TORTS ANALYSIS

(Torts II.A., B., E.1., E.3., F.1.)

ANALYSIS

Legal Problems

- (1) Could a jury properly find that Employee falsely imprisoned Paul by stopping the Ferris wheel for 30 minutes?
- (2) Could a jury properly find that Funworld was negligent because Employee failed to take action to stop the two boys from rocking their car?
- (3) Could a jury properly find that Mom is entitled to recover for her emotional distress and resulting miscarriage?

DISCUSSION

Summary

A jury could properly find that Employee falsely imprisoned Paul, because Employee knew with substantial certainty that Paul would be confined in the Ferris wheel car when he refused to restart the Ferris wheel, and the facts do not establish any defense to a false imprisonment claim. Because Employee was acting within the scope of his employment, a jury could impose liability on Funworld for Employee's actions. A jury could properly find that Employee's failure to take action to stop the two boys from rocking the car was negligent and that it caused Paul's injuries even though there has been only one similar accident over the past 40 years. It is unlikely that Mom can recover for her emotional distress and resulting miscarriage because she was not in the zone of danger and did not contemporaneously observe any injury to Paul.

Point One (40%)

Paul can establish the elements of a prima facie case of false imprisonment, and there is no defense here to a false imprisonment claim.

An actor is subject to liability to another for false imprisonment if "(a) he acts intending to confine the other or a third person within boundaries fixed by the actor, and (b) his act directly or indirectly results in such a confinement of the other, and (c) the other is conscious of the confinement or is harmed by it." RESTATEMENT (SECOND) OF TORTS § 35.

Confinement need not be physical, and it "need not be stationary." *Id.* § 36 cmt. b. The individual confined is not required to endanger his person through escape efforts. *Id.* § 36 cmt. a. *See also id.* § 38 ("confinement may be by actual or apparent physical barriers").

The requisite intent to confine can be shown through either motivation or knowledge. An actor may be found liable for false imprisonment both when "his act was done for the purpose of imposing confinement upon the other" and when he acted "with knowledge that such confinement would, to a substantial certainty, result from [his actions]." *Id.* § 35 cmt. d.

Here, Employee confined Paul by stopping the Ferris wheel. Given Paul's position in midair, he could not leave the car in which he was riding without endangering his person. Employee knew that Paul would be unable to leave the car when he acted. Thus, Paul can establish a prima facie case of false imprisonment. And because Employee was acting within the scope of his employment, Funworld is vicariously liable for his conduct.

Employee's actions would have been privileged if stopping the Ferris wheel had been necessary in order to protect "some interest of the actor or of the public which is of such importance as to justify the harm caused or threatened by its exercise." *Id.* § 10. *See also id.* § 890; *Sindle v. New York City Transit Authority*, 307 N.E.2d 245 (N.Y. 1973) (holding that a school bus driver who drove straight to police station instead of making regular stops was privileged to confine all students riding the bus when some students had committed acts of vandalism and continued to be abusive after being warned). Thus, for example, if Employee had stopped the Ferris wheel briefly to permit rescue workers to remove the two boys from the scene, Employee's conduct would likely have been privileged. However, Employee, for no apparent reason, failed to start the Ferris wheel for 30 minutes after the two boys were taken to the hospital.

Therefore, a jury could properly find that Employee falsely imprisoned Paul. Because Employee was acting within the scope of his employment, the jury could also find that Funworld was liable to Paul for injuries caused by Employee's actions.

While an argument could be made that Paul consented to being confined on the Ferris wheel, Paul's consent to be on the wheel was withdrawn once he begged to be taken off the wheel.

Point Two (25%)

A reasonable jury could properly conclude that Funworld was negligent for failing to take any action to stop the two boys from rocking the Ferris wheel car.

In any negligence action, a plaintiff must show that the defendant owed the plaintiff a duty to conform his conduct to a standard necessary to avoid an unreasonable risk of harm to others, that the defendant's conduct fell below the applicable standard of care, and that the defendant's conduct was both the cause in fact and the proximate cause of the plaintiff's injuries. Paul would have no difficulty in establishing that Funworld owed him a duty of care. Paul was a business visitor, and Funworld thus owed Paul reasonable care to avoid foreseeable risks. *See* RESTATEMENT (SECOND) OF TORTS §§ 332 & 343. Because Employee was acting within the scope of his employment, the jury could also find that Funworld was liable to Paul for injuries caused by Employee's negligence (*see* Point One).

In determining whether Employee's conduct was negligent, the jury should measure that conduct against the conduct of a reasonable, prudent person engaged in a like activity. A reasonable, prudent person takes precautions to avoid foreseeable risks, even if those risks have rarely materialized. *See* RICHARD A. EPSTEIN, CASES AND MATERIALS ON TORTS 177–78 (9th ed. 2008). If a Ferris wheel car is rocking vigorously, there is a small but nonetheless foreseeable risk that persons riding within the car or objects they are carrying may fall and cause injuries. Given the foreseeability of serious harm, and the small burden of taking steps to prevent the harm, a jury could properly conclude that Employee was negligent in failing to take any action to stop the two boys from rocking the car.

Point Three (35%)

Mom is unlikely to recover for her emotional distress and resulting miscarriage because she was not in the zone of danger nor did she contemporaneously observe an injury to Paul.

Although early cases typically denied recovery for negligent infliction of emotional distress to a plaintiff who experienced no physical contact or injury (see *Mitchell v. Rochester Railway Co.*, 45 N.E. 354 (N.Y. 1896)), today virtually all American jurisdictions have abandoned this approach; a plaintiff who is within the zone of danger created by the defendant and who suffers a physical manifestation of emotional distress occasioned by a threatened injury may recover in virtually all states. Here, however, Mom did not apprehend any personal danger. Her emotional harm and resulting miscarriage were due to her fears for *Paul's* safety.

In evaluating claims for emotional distress resulting from accidents involving other individuals, American jurisdictions have taken two different approaches. Some disallow recovery unless the plaintiff was herself within the zone of danger. See, e.g., *Tobin v. Grossman*, 249 N.E.2d 419 (N.Y. 1969); Michael Steenson, *Engler v. Illinois Farmers Insurance Co. and Negligent Infliction of Emotional Distress*, 32 WM. MITCHELL L. REV. 1335, n. 176 (2006) (reporting 13 jurisdictions that follow the zone-of-danger approach). A larger group permits recovery if the plaintiff was closely related to the victim, was located near the scene of the accident, and suffered shock resulting from “the sensory and contemporaneous observance of the accident.” *Dillon v. Legg*, 441 P.2d 912 (Cal. 1968) (emphasis added); Steenson, *supra* (reporting 30 jurisdictions that follow some variant of the *Dillon* approach). In virtually all jurisdictions, emotional distress must result from sensory and contemporaneous observance of the accident itself, not the receipt of news relating to the accident. “All of us can expect at least once in our lives to be informed of the serious injury or death of a close family member Although the shock and grief growing out of such news is great, it is not compensable emotional distress.” *Bowen v. Lumbermens Mutual Casualty Co.*, 517 N.W.2d 432, 445 (Wis. 1994). Some jurisdictions that follow the *Dillon* approach limit recovery to relatives who were at the scene when the accident happened. See Steenson, *supra*, n. 176. Some permit recovery by a relative who comes upon the scene shortly after the accident happens. See *id.* Only a handful of jurisdictions permit recovery based simply on the foreseeability of mental distress. See *id.* (reporting nine jurisdictions that use a foreseeability approach and noting that they typically require arrival at the scene shortly after the injury); *Ferriter v. Daniel O’Connell’s & Sons, Inc.*, 413 N.E.2d 690 (Mass. 1980) (permitting recovery by wife who saw husband’s injuries at hospital) (superseded by statute, M.G.L.A. 152 § 24).

Here, Mom was not within the zone of danger; she was some 100 yards away. Moreover, Mom’s fright was occasioned solely by an erroneous report that “a little boy has been killed.” Although Mom was located near the scene of the accident, she did not see or hear the accident; she arrived on the scene after hearing emergency alarms. Indeed, even after she arrived, Mom could neither see nor hear Paul (nor could she see any other injured person) until several minutes after Paul exited the Ferris wheel, which was 40 minutes after the accident took place.

Thus, in virtually all jurisdictions, Mom will not be able to recover for her distress and resulting miscarriage even if Funworld is found negligent in failing to prevent Paul’s injury. Mom was not within the zone of danger, and her emotional harm stemmed from an erroneous report that a boy had been killed, not from sensory and contemporaneous observance of injuries to Paul.

DECEDENTS' ESTATES ANALYSIS

(Decedents' Estates II.C., D., I.2., I.3., I.6.)

ANALYSIS

Legal Problems

- (1) Was the document captioned "Last Will and Testament" republished by codicil?
- (2) Was the document captioned "Last Will and Testament" incorporated by reference into Testator's valid partial will?
- (3) Assuming that the document captioned "Last Will and Testament" drafted by Testator's attorney is not a valid will, will Daughter be barred from inheriting from Testator by the state "slayer statute"?
- (4) Did Testator's bequest of her house located at 340 Green Avenue adeem?
- (5) Did the dividend of 200 shares of XYZ Corporation common stock pass to the devisee, Aunt?

DISCUSSION

Summary

Because the document captioned "Last Will and Testament" was never executed by Testator, it cannot be republished by codicil. Because the partial will (an intended codicil) did not specifically refer to the document captioned "Last Will and Testament," that document cannot be incorporated by reference. Thus, although the partial will is valid and determines the disposition of the assets named therein, the rest of Testator's estate passes to Daughter, Testator's sole heir, through partial intestacy. Nephew gets nothing.

Daughter is not barred from inheriting from Testator, because slayer statutes bar from inheriting only a beneficiary who killed the decedent whose estate is at issue. Here, Daughter was convicted of murdering Testator's husband, not Testator. Thus, Daughter takes the \$200,000.

Under the common law ademption doctrine, the bequest of Testator's house at 340 Green Avenue was adeemed by extinction, and Cousin would take nothing. Under the Uniform Probate Code or a like statute, however, Cousin would take Testator's home at 12 Elm Street as replacement property.

Under the law of most states, Aunt would be entitled to both the 400 shares of XYZ Corporation common stock devised to her and the 200 shares Testator received as a stock dividend.

Point One (20%)

Testator's valid partial will did not republish the unexecuted, unwitnessed document captioned "Last Will and Testament."

The document captioned “Last Will and Testament” is not a valid will because it was never executed. However, the document the attorney next sent was properly executed by Testator, and it is a valid partial will. It thus determines the disposition of the assets named therein (Testator’s home and 400 shares of XYZ stock).

A valid partial will, or codicil, that refers to an earlier will is said to republish that will. When republication takes place, the republished will is deemed to be executed on the same day as the codicil. *See generally* RESTATEMENT (THIRD) OF PROPERTY: WILLS AND OTHER DONATIVE TRANSFERS § 3.4 (1999). Republication can cure defects that might otherwise affect the validity of bequests made under a will. For example, in a jurisdiction that voids bequests to interested witnesses, a bequest to such a witness can be saved if the will is republished by a later-executed codicil witnessed by two disinterested witnesses.

However, by most accounts, a document that is not a valid will cannot be republished by codicil. *See generally* JESSE DUKEMINIER AND STANLEY M. JOHANSON, WILLS, TRUSTS, AND ESTATES 303 (6th ed. 2000). There is some contrary authority, but those cases involve codicils written on the unexecuted dispositive document itself. *See, e.g., Johnson v. Johnson*, 279 P.2d 928 (Okla. 1954). Here, the codicil was a separate document.

Thus, the “Last Will and Testament” unexecuted by Testator (and which left Testator’s entire estate to Nephew) was not republished when Testator properly executed a partial will, and it will have no effect on the distribution of Testator’s assets. Nephew gets nothing.

[NOTE: Colorado, Hawaii, Montana, and Utah have adopted the dispensing power in the Uniform Probate Code § 2-503. That power allows a court to validate a will not executed in accordance with the statute of wills if the evidence is clear and convincing that the testator intended the document to be a will. It is not clear, however, whether that statute can apply where the will was neither signed by the testator nor witnessed by anyone. It is also unclear that Testator intended the first, unsigned document to be her will. Examinees who believe that the document captioned “Last Will and Testament” can be saved under the dispensing power would have to conclude that the later document was a codicil only and that assets not disposed of by the later codicil pass to Nephew under the earlier will.]

Point Two (15%)

The document captioned “Last Will and Testament” was not incorporated by reference into Testator’s valid partial will because the partial will did not specifically refer to the earlier document or reflect Testator’s intent to incorporate that will.

“A writing that is not valid as a will but is in existence when a will is executed may be incorporated by reference into the will if the will manifests an intent to incorporate the writing and the writing to be incorporated is identified with reasonable certainty.” RESTATEMENT (THIRD) OF PROPERTY: WILLS AND OTHER DONATIVE TRANSFERS § 3.6. *See also* UNIF. PROBATE CODE § 2-510 (allowing for incorporation by reference when the will describes “the writing sufficiently to permit its identification”).

Here, the document captioned “Last Will and Testament” drafted by Testator’s attorney was in existence at the time Testator executed the second, partial will disposing of Testator’s real estate and stock. However, it is unclear whether the partial will identifies the “Last Will and Testament” with “reasonable certainty.”

More importantly, the partial will does not evidence an intention to incorporate the prior “Last Will and Testament” by reference. Indeed, quite to the contrary, the only possible “reference” to the first document is in the statement “I republish my will.” “I republish” is not

the type of reference to a prior document that an experienced attorney would use to incorporate a document by reference; “republish” is a term of art that has legal consequences. *See* Point One.

Thus, the “Last Will and Testament” first drafted by the attorney was not incorporated by reference into the second document, Testator’s valid partial will. Therefore, assets not passing under the valid partial will should pass to Testator’s heir(s) by intestacy.

Point Three (15%)

Daughter is Testator’s sole heir, and she is not barred from inheriting from Testator by a slayer statute because these statutes apply only when the heir has murdered the decedent whose estate is at issue.

Because Testator’s valid will did not dispose of Testator’s entire estate, the remaining assets will pass to Testator’s heirs. Under all intestate succession statutes, Daughter would be Testator’s only heir.

Although murderers are often barred from inheriting under a “slayer statute,” such a statute would not bar Daughter from inheriting from Testator because these statutes apply only when the heir killed the decedent whose estate is at issue. *See* UNIF. PROBATE CODE § 2-803 (barring legatee or heir from taking share of estate when he or she killed the decedent). No slayer statute bars an heir from inheriting from a decedent’s estate because the heir killed another person, even if the heir’s victim left property to the decedent that is included in the decedent’s estate.

[NOTE: If an examinee erroneously concludes that Daughter is barred from taking a share of Testator’s estate, the examinee should conclude that whatever Daughter would have taken will pass to her child, Grandson, absent a statute that bars both the slayer and the slayer’s descendants from taking.]

Point Four (35%)

Under the common law ademption doctrine, the bequest of Testator’s house to Cousin adeemed because Testator’s house at 340 Green Avenue, Springfield, State A, was not in Testator’s probate estate. Possibly under the intent theory of ademption, and certainly under Uniform Probate Code § 2-606 or a like statute, the house located at 12 Elm Street could pass to Cousin as a substitute gift.

Under the common law ademption doctrine, if specifically devised property (i.e., property that is specifically described in the will) is not in the testator’s estate when the testator dies, the bequest adeems (i.e., fails). *See generally* WILLIAM MCGOVERN & SHELDON KURTZ, WILLS, TRUSTS, AND ESTATES 315 (3d ed. 2004). Under this common law doctrine, the testator’s intentions are irrelevant; all that matters is whether the testator owned the specifically devised asset at his or her death.

Some modern courts have rejected the common law “identity test” for ademption in favor of an intent test. Under the intent test, a beneficiary of specifically devised property is entitled to substitute property that was owned by the testator at his or her death if the beneficiary proves that the testator intended the beneficiary to take the substitute property. *See generally* Note, 23 DRAKE L. REV. 478 (1974); *Estate of Austin*, 113 Cal.App.3d 167 (1980).

Testator’s bequest of the property at 340 Green Avenue was a specific bequest and thus subject to the ademption doctrine. Under the common law identity test, the bequest would adeem

because Testator did not own this property at her death. The home would then pass to Daughter as Testator's heir. *See* Point Three.

Under the intent test, Cousin would be entitled to Testator's home at 12 Elm Street if he or she could establish that Testator wanted Cousin to take this home as a substitute for the property at 340 Green Avenue. It is unclear whether Cousin could make such a showing. Indeed, the fact that Testator told her attorney that she wanted Cousin to have the five-bedroom house at 340 Green Avenue because "Cousin has such a large family" arguably suggests that Testator did not want Cousin to take the two-bedroom house at 12 Elm Street, which would likely be too small for Cousin's family.

[NOTE: An examinee who demonstrates an understanding of the intent theory of ademption should not be penalized if he or she reaches a different conclusion.]

Under the Uniform Probate Code, a specific devisee has the right to any "real . . . property owned by the testator at death which the testator acquired as a replacement for specifically devised real property." UNIF. PROBATE CODE § 2-606(5). Under this or a like statute, Cousin would be entitled to the property at 12 Elm Street because Testator acquired that property as a replacement for 340 Green Avenue.

Point Five (15%)

Aunt is entitled to both the 400 shares of XYZ Corporation common stock bequeathed to her by Testator and the 200 additional shares of XYZ Corporation common stock distributed to Testator as a stock dividend. Thus, Aunt takes all 600 shares of that stock.

Under the common law, a devisee of common stock was entitled to additional shares of that stock obtained by the testator through a stock split, but not to additional shares acquired as a stock dividend. Under this approach, Aunt would be entitled to only 400 shares of XYZ common stock. *See* JESSE DUKEMINIER AND STANLEY M. JOHANSON, WILLS, TRUSTS, AND ESTATES 464 (6th ed. 2000); *Hicks v. Kerr*, 104 A. 426 (1918).

Today, virtually all jurisdictions treat stock splits and dividends the same way; in each case, additional shares obtained by the testator go to the specific devisee. *See, e.g.*, UNIF. PROBATE CODE § 2-605. Under this approach, Aunt would be entitled to all 600 shares of XYZ common stock.

AGENCY PARTNERSHIP ANALYSIS

(Agency and Partnership V.A., C.; VI.)

ANALYSIS

Legal Problems

- (1) Is Garden LLP liable for the \$500,000 judgment owed to the customer when the injury that led to the judgment occurred prior to the partnership's qualification as an LLP?
- (2) Are the man and woman personally liable for the \$500,000 judgment owed to the customer?
- (3) Is the investor personally liable for the \$500,000 judgment owed to the customer?

DISCUSSION

Summary

Garden LLP is the same entity as Garden Partnership and is liable for the \$500,000 judgment owed to the customer even though the injury that led to that judgment occurred prior to the partnership's qualification as an LLP.

LLP status does not relieve partners of pre-existing liability for partnership obligations incurred prior to qualification as an LLP, although it does limit their liability for obligations incurred after such qualification. Therefore, the man and woman are jointly and severally liable for the \$500,000 owed to the customer because the injury that led to the judgment occurred before Garden Partnership, then a general partnership in which the man and woman were the general partners, became Garden LLP.

A new partner is not personally liable for LLP obligations incurred before the person's admission as a partner. Therefore, the investor is not personally liable for the customer's injury because the investor was not a partner in Garden LLP (or Garden Partnership) when that injury occurred.

Point One (45%)

Garden LLP is liable to the customer for the judgment because the limited liability partnership is the same entity that existed prior to its qualification as an LLP and assumes all outstanding liabilities of the prior entity.

The Uniform Partnership Act (UPA 1997) adopts an entity theory of partnership. In other words, the partnership itself is a legal entity and not a mere aggregate of individual partners. *See* UPA § 201(a) (1997) ("A partnership is an entity distinct from its partners.").

An LLP continues to be the same entity that existed prior to the filing of a statement of qualification as an LLP. *Id.* § 201(b). "[T]he filing of a statement of qualification does not create

a ‘new’ partnership. The filing partnership continues to be the same partnership entity that existed before the filing.” *Id.* § 201 cmt.

Here, since Garden LLP is the same entity as Garden Partnership, it has all of Garden Partnership’s outstanding obligations, and Garden LLP is liable to the customer for the judgment.

[NOTE: In states that have not adopted the UPA 1997, the same result follows if they have both the UPA 1914 and a separate statute providing for LLPs.]

Point Two (35%)

The man and woman are jointly and severally liable to the customer because the obligation to the customer was incurred prior to Garden Partnership’s qualification as an LLP.

Under the UPA (1997), the partners in a partnership are jointly and severally liable for all obligations of the partnership “unless otherwise agreed by the claimant or provided by law.” UPA § 306(a) (1997). [A similar result follows from § 15 of the UPA 1914.] Because the customer has not otherwise agreed, the man and woman are jointly and severally liable for the judgment obtained against Garden Partnership unless otherwise provided by law.

Here, the UPA does not protect the man and woman. The UPA provides that when a partnership has qualified as an LLP, any obligation “incurred while the partnership is a limited liability partnership, whether arising in contract, tort, or otherwise, is solely the obligation of the partnership.” *Id.* § 306(c). Here, however, the obligation to the customer arose *before* the partnership qualified as an LLP, and the limited liability protection does not apply. Garden Partnership became a limited liability partnership only upon the filing of the statement of qualification with the secretary of state. UPA § 1001. “The connection between partner status and personal liability for partnership obligations is severed only with respect to obligations incurred while the partnership is a limited liability partnership. Partnership obligations incurred before a partnership becomes a limited liability partnership . . . are treated as obligations of an ordinary partnership.” *Id.* § 306 cmt. 3. Consequently, the man and woman are jointly and severally liable for the judgment owed to the customer that arose prior to Garden Partnership qualifying as an LLP.

Point Three (20%)

The investor is not personally liable to the customer because the customer’s injury occurred before the investor became a partner.

A person who is admitted as a partner is not personally liable for any partnership obligation incurred prior to the admission of the person to the partnership. UPA § 306(b) (1997). In this case, the injury to the customer and, consequently, the partnership obligation arose before the investor was admitted as a partner. Therefore, the investor has no personal liability to the customer.

[NOTE: While not asked to do so by the question, an examinee may correctly point out that while the investor has no personal liability to the customer, the \$50,000 that the investor contributed to the partnership is “at risk for the satisfaction of existing partnership debts.” UPA § 306 cmt. 2 (1997).]

FEDERAL CIVIL PROCEDURE/CONFLICT OF LAW ANALYSIS

(Federal Civil Procedure I.A.1., E.; II.A. / Conflict of Laws II.D.1.a.; III.F.2.)

ANALYSIS

Legal Problems

- (1) Does a federal court have removal jurisdiction when the parties to the state action are diverse, the amount in controversy exceeds \$75,000, and the defendant is not from the state where the action was originally filed?
- (2) Should a federal court grant a change of venue pursuant to a forum-selection clause when the chosen venue is reasonable but the forum-selection clause is invalid under the law of the state where the case was originally filed?
- (3) When federal jurisdiction is based on diversity, what effect does a change of venue have on the substantive law that applies?

DISCUSSION

Summary

Pursuant to 28 U.S.C. § 1441, a case filed in state court is removable by a defendant to federal court if the case falls within the original jurisdiction of the federal court. Here, the case was properly removed because it falls within the original diversity jurisdiction of the federal court: the two parties are of diverse citizenship, and the amount in controversy is in excess of \$75,000. See 28 U.S.C. § 1332(a)(1).

Venue changes are proper under 28 U.S.C. § 1404(a) when they serve “the convenience of parties and witnesses” and are “in the interest of justice.” Here, State B is arguably a more convenient forum for the litigation. Moreover, the Supreme Court has ruled that the “interest of justice” language in the statute provides a basis for a federal policy of enforcement of forum-selection clauses through venue transfers. Finally, venue in State B is proper under 28 U.S.C. § 1391(a)(1), because State B is a place where all defendants reside, and also under § 1391(a)(2), because a “substantial part” of the events relating to the dispute occurred in State B.

When a case is transferred under § 1404, the transferee court must apply the law of the original transferor forum, including that state’s choice-of-law rules. Here, because the facts say that State A courts would apply State A law to the case, the federal court in State A is required to do so, and that law also must be applied in the transferee State B federal court. Therefore, the change of venue would not affect what law applies, and therefore contract rescission will be allowed.

Point One (30%)

It was proper to remove the action from a state court in State A to the federal court in State A because that federal court would have had diversity jurisdiction over the case had it been filed there originally.

A defendant may remove a civil action from state court to federal court if the action is a type over “which the district courts of the United States have original jurisdiction.” 28 U.S.C. § 1441(a). In this case, if the action had been filed originally in a federal court, it would have been within the diversity jurisdiction of the federal court.

Federal diversity jurisdiction extends to “all civil actions where the matter in controversy exceeds . . . \$75,000, and [which are] between . . . citizens of different States.” 28 U.S.C. § 1332(a)(1). The restorer and owner are citizens of different states, so the diversity requirement is satisfied. Furthermore, the remedy sought by the owner—a return of the \$100,000 contract price—exceeds the jurisdictional amount of \$75,000. It does not matter that the owner may recover less than this: a plaintiff’s claim of damages in excess of the jurisdictional amount will be accepted unless it “appear[s] to a legal certainty that the claim is really for less than the jurisdictional amount.” *St. Paul Mercury Indemnity Co. v. Red Cab Co.*, 303 U.S. 283, 289 (1938). Here the facts relating to performance of the restoration contract, the amount paid on that contract, and the amount sought in rescission are adequate to avoid any suggestion that the recoverable damages are less than the jurisdictional amount “to a legal certainty.”

Accordingly, because the case falls within the federal court’s diversity jurisdiction, the federal court had removal jurisdiction over the action.

[NOTES: (1) Removal itself does not raise any personal jurisdiction issues, and discussions of personal jurisdiction are not relevant to the question asked, which is whether the federal court has removal jurisdiction.

(2) In actions where federal jurisdiction is based on diversity, a defendant cannot remove the case to federal court if the case was filed in a state court in the defendant’s home state. *See* 28 U.S.C. § 1441(b). That bar to removal is inapplicable on our facts because State A is not the defendant’s (the restorer’s) home state.]

Point Two (40%)

The change-of-venue motion is very likely to be granted because State B is a reasonably convenient forum in which to hear the action, the parties’ contractual agreement to litigate in State B provides a strong reason for granting a transfer, and the State B federal court would have been an appropriate place in which to bring the action in the first place.

The motion for a change of venue is governed by 28 U.S.C. § 1404(a), which provides in its entirety, “For the convenience of parties and witnesses, in the interest of justice, a district court may transfer any civil action to any other district or division where it might have been brought.” Transfer pursuant to the “convenience . . . and interest of justice” standard of § 1404 is discretionary (“may”), but transfer under § 1404 may be made only to a district in which the action might originally “have been brought.”

In this case, the action originally could have been brought in a federal district court in State B. First, a State B federal court would have had diversity jurisdiction over the action. (*See* Point One.) Second, a State B federal court would have been an appropriate venue for the action. Under 28 U.S.C. § 1391(a)(1), venue is proper in a district where “any defendant resides, if all defendants reside in the same State.” On that basis, State B is a proper original venue simply because the restorer resides there. In addition, venue is proper in State B under § 1391(a)(2), which permits venue in any judicial district “in which a substantial part of the events or omissions giving rise to the claim occurred.” The contract was signed in State B, and the restorer’s work on the tapestry was performed there. Finally, because the restorer is a resident

citizen of State B, the State B federal court would have had jurisdiction over him. In short, the action could originally have been brought in State B.

The question, therefore, is whether convenience and the “interest of justice” favor a transfer from State A to State B. Absent the forum-selection clause, the issue could be argued either way. Arguably, most of the evidence and witnesses in the case would be found in State B, which is where the work on the tapestry was performed and where the contract was drafted and signed. On the other hand, State A is the owner’s home (and a convenient place for the owner to litigate), and it is also connected to the transaction—it was the situs of the negotiations. Judges have a good deal of discretion under § 1404(a), but normally a judge would allow a plaintiff’s original venue choice to prevail where the facts are closely divided on the issues of convenience and interest of justice.

However, the presence of the forum-selection clause alters this analysis. In *Stewart Organization, Inc. v. Ricoh Corp.*, 487 U.S. 22 (1988), the Supreme Court ruled that a reasonable forum-selection clause is a relevant factor favoring a § 1404 change-of-venue motion, even if the forum-selection clause is unenforceable under the applicable state law. According to the Supreme Court, the presence of a reasonable forum-selection clause is an important consideration relevant to the “interest of justice” determination under § 1404. *See* 487 U.S. at 29. In this case, there are several connections between the transaction, the parties, and State B, and the parties’ selection of a State B forum was certainly reasonable.

In sum, State B is an appropriate venue under the federal venue statute, there are several important connections between the case and State B, and the forum-selection clause provides a strong reason to grant the transfer. Therefore, the State A federal district court should grant the motion for change of venue.

Point Three (30%)

The United States District Court in State B must apply the law of State A to the transferred action, including State A’s choice-of-law rules. Because State A would have applied its own rescission law, the federal court in State B must also apply State A rescission law.

In this diversity case based on a state law breach-of-contract claim, the *Erie* rule would have required the State A federal court to apply state substantive law. Moreover, for *Erie* purposes, the state substantive law includes any choice-of-law rules that a state court would apply as part of state law. *See Klaxon Co. v. Stentor Electric Mfg. Co.*, 313 U.S. 487 (1941). In this case, the facts state that State A choice-of-law rules would lead a State A court to apply its own rescission law.

Following a § 1404 transfer, the transferee court must apply the same law to the case as would have been applied by the transferor court. *See Van Dusen v. Barrack*, 376 U.S. 612 (1964). Thus, the State B federal court must apply whatever law would have been applied by the State A federal court. In short, the change of venue does not affect the law that will be applied to the substantive issues in the case.

Therefore, whether the case is heard in federal court in State A or federal court in State B, State A rescission law will be applied.

REAL PROPERTIES ANALYSIS

(Real Property II.B.; IV.A.1., F.3.)

ANALYSIS

Legal Problems

- (1) Was Sue's easement over Blackacre that she had acquired from Tom extinguished when she purchased Blackacre from Tom?
- (2) Did Dan acquire an easement implied from prior use over Blackacre when he purchased Whiteacre from Sue?
- (3) How should the proceeds from the sale of Whiteacre be distributed?

DISCUSSION

Summary

Immediately prior to Sue's sale of Whiteacre to Dan, Sue had no easement over Blackacre because the easement she had acquired from Tom was extinguished by merger. Immediately after the sale of Whiteacre to Dan, Dan had an easement over Blackacre. This easement arose by implication from Sue's prior use of the private gravel road over Blackacre for the benefit of Whiteacre.

Because Bank was obligated to advance the \$700,000 to Dan under the terms of its loan commitment with Dan, Bank is entitled to all \$1,500,000 from the \$1,500,000 sales proceeds, and Finance Company is entitled to nothing.

Point One (25%)

The easement Sue acquired from Tom was extinguished by merger when Sue bought Blackacre from Tom. Thus, immediately prior to her sale of Whiteacre to Dan, Sue had no easement over Blackacre.

Sue purchased from Tom an easement for a right-of-way over Blackacre to be used in connection with her ownership of Whiteacre. This easement, an appurtenant easement of which Whiteacre was the dominant estate and Blackacre was the servient estate, was promptly and properly recorded. When the owner of the dominant estate (Sue) acquired the servient estate (Blackacre), however, the easement was extinguished by merger. *See generally* HERBERT HOVENKAMP & SHELDON KURTZ, PRINCIPLES OF PROPERTY LAW 334 (6th ed. 2005); *see also* II AMER. LAW OF PROPERTY § 8.90 (1957). This result follows from the fact that because of the post-sale unity of ownership of the two estates, Sue could enforce the easement only against herself, and lawsuits against one's self are impermissible.

Point Two (40%)

Upon the conveyance of Whiteacre, Dan acquired an easement implied from prior use with respect to use of the private gravel road traversing Blackacre.

An easement implied from prior use arises in favor of a grantee when (1) two parcels of land are in common ownership; (2) one of the parcels is conveyed to a grantee; (3) the parcel conveyed had been receiving a benefit from the parcel retained prior to the conveyance to the grantee, i.e., there was a use over the retained parcel in favor of the conveyed parcel which could have been the subject of an express easement appurtenant; (4) the usage is reasonably necessary or convenient; and (5) the usage is apparent. *See generally* WILLIAM B. STOEBCUK & DALE A. WHITMAN, *THE LAW OF PROPERTY* § 8.4 at 445 (3d ed. 2000); JOSEPH W. SINGER, *INTRODUCTION TO PROPERTY* § 5.3.3 at 194 (2d ed. 2005); HOVENKAMP & KURTZ, *supra*, at 331; *see also Romanchuk v. Plotkin*, 9 N.W.2d 421 (Minn. 1943).

Here, the first three criteria are clearly met: Sue owned both Blackacre and Whiteacre; she conveyed one parcel (Whiteacre) to Dan; and Whiteacre, the parcel conveyed, had been receiving a benefit from the parcel retained, i.e., use of the private gravel road traversing Blackacre, which could have been—indeed, was, before its extinction by merger—the subject of an express easement appurtenant.

Sue's use of Blackacre also appears to satisfy the "reasonably necessary" and "apparent" requirements. "The principle underlying the creation of an easement by implication is that it is so evidently necessary to the reasonable enjoyment of the granted premises, so continuous in its nature, so plain, visible and open, so manifest from the situation and relation of the two tracts that the law will give effect to the grant according to the presumed intent of the parties." *Rischall v. Bauchmann*, 46 A.2d 898, 902 (Conn. 1946); *see also Gemmell v. Lee*, 757 A.2d 1171 (Conn. Ct. App. 2000).

Most courts interpret the "reasonably necessary" requirement "to mean that the easement must be important to the enjoyment of the" conveyed land or "highly convenient." SINGER, *supra*, at 196. Courts are likely to find that an easement is implied from prior use where access to the transferred land is "extremely difficult by other routes" and to find that an easement is not implied when the transferred land has "easy access to public roads in another direction." *Id.* at 197. Sue's use of Blackacre for the benefit of Whiteacre meets this test; the facts specify that the private gravel road provided significantly better access to the four-lane highway than did the county road abutting Whiteacre.

Most courts have found that the "apparent" requirement is met when the usage is visible. *See* HERBERT HOVENKAMP & SHELDON F. KURTZ, *THE LAW OF PROPERTY* 367 (5th ed. 2001). Here, the private gravel road was open and obvious; indeed, the facts state that Dan was aware that Sue had used that road to more easily access the four-lane highway.

Thus, upon Sue's conveyance of Whiteacre to Dan, she conveyed to Dan an easement implied from prior use.

[NOTE: Dan did not acquire an easement by necessity over Blackacre, because Whiteacre is not landlocked, and he has access to it from the county road. An easement by necessity arises only when there has been a conveyance of a portion of the grantor's land, the grantor retains the remaining portion, and, after severance of the grantor's land, it is necessary for the grantee to pass over the grantor's retained portion to reach a public street or highway. *See generally* STOEBCUK & WHITMAN, *supra*, § 8.5 at 447. Landlocked land clearly satisfies the necessity test, and a few courts have found an easement where there is merely "reasonable" necessity. Additionally, this is not a case for easement by estoppel. An easement by estoppel arises when A gives B permission to use A's land and the licensee, here B, invests substantial funds in that land reasonably relying on the permission. The facts here do not support the conclusion that there is an easement by estoppel.]

Point Three (35%)

The proceeds from the foreclosure sale should be paid entirely to Bank because Bank gave Dan a future-advances mortgage.

The typical construction loan provides that the lender will advance funds to the borrower over a fixed time period. The lender secures a mortgage on the property for the entire amount of the money it has agreed to lend, including future advances. Such “future advances” mortgages may provide for obligatory advances, or they may provide for advances that are optional.

Whether the future-advances mortgage payments are obligatory or optional is critical to the rights of a junior lender. If payments under a future-advances mortgage are obligatory, then the junior lender’s lien is junior both to amounts loaned to the debtor before the junior lien was recorded and to amounts loaned after the junior lien is recorded. If the payments under a future-advances mortgage are optional, the junior lender has a priority over amounts transferred to the debtor by the senior lender after the junior lender transfers funds to the debtor and records its mortgage. *See generally* GRANT S. NELSON & DALE A. WHITMAN, REAL ESTATE FINANCE LAW § 12.7 at 1088–90 (5th ed. 2007). The rationale for this rule is that in the case of an obligatory loan, the junior lender can ascertain from public land records the maximum amount of the senior lender’s claim before loaning money to the creditor, while with an optional loan, the junior lender cannot know whether subsequent advances will be made and the senior lender can protect itself against junior lenders by searching the land records before making additional advances.

Here, Bank’s loan commitment to Dan was secured by an obligatory future-advances mortgage, and Bank both recorded its mortgage and loaned Dan money before Finance Company did so. Thus, Bank is the senior lender in the amount of \$1,500,000, the full value of its loan commitment to Dan, and it is entitled to all of the foreclosure sales proceeds. Finance Company is entitled to nothing.

CORPORATIONS ANALYSIS

(Corporations V.B.1.)

ANALYSIS

Legal Problems

- (1)(a) Did the directors other than Claire receive proper notice of the special meeting of the board of directors?
- (1)(b) Did Claire receive proper notice of the special meeting of the board of directors and, if not, did she waive notice?
- (2) Was a quorum present at the special meeting of the board of directors?
- (3) Did the purchase of the asset receive the required number of votes in favor to be approved?

DISCUSSION

Summary

Proper notice of the special meeting of the board of directors was given to all directors other than Claire. Claire did not receive proper notice of the special meeting, but she waived the right to object to actions taken at the special meeting when she attended the special meeting and voted. A quorum (a majority of the directors) is required for action taken at a meeting to be proper. Here, a quorum was present at the special meeting. However, Alan and Barb were not able to hear each other and therefore cannot be counted as participating in the meeting. Therefore, in determining whether the purchase of the asset received the required number of votes to be proper, the votes of Alan and Barb may not be counted. Thus, the purchase of the asset was not properly approved by the board because it did not receive the required number of votes.

Point One(a) (25%)

The directors other than Claire received proper notice of the special meeting of the board of directors.

Unless the articles of incorporation or bylaws provide otherwise, notice of a special meeting of a corporation's board of directors must be given at least two days prior to the date of the meeting. MODEL BUS. CORP. ACT (MBCA) § 8.22(b). The notice must include information regarding the time, location, and date of the meeting but does not need to include information regarding the purpose of the meeting. *Id.*

Here, the facts state that the corporation's articles of incorporation and bylaws do not contain any special provisions regarding the board of directors. Notice of the special meeting was sent to six of the seven directors 29 days before the meeting was to be held, and it specified a time, location, and date. Therefore, with respect to those six directors, the notice of the special meeting was proper.

[NOTE: Although the references in the analysis are to the MBCA, the result throughout is the same under the Delaware General Corporation Law.]

Point One(b) (25%)

Claire did not receive proper notice of the special meeting of the board of directors; however, she waived such notice.

A director who does not receive notice of a special meeting of the board of directors at least two days prior to the meeting does not receive proper notice of that meeting. (*See* Point One(a).) However, a director who attends a special meeting of the board of directors despite not receiving proper notice waives such notice unless the director objects to the holding of the meeting and thereafter does not vote at the meeting. MBCA § 8.23(b). Here, there is no doubt that Claire did not receive proper notice of the special meeting. No notice was sent to Claire, who learned of the meeting through a phone call with another director. Even if that phone call constitutes notice, it was not received at least two days prior to the special meeting and therefore is not proper. (*See* Point One(a).)

However, Claire attended and voted at the special meeting. By these actions, Claire waived the notice requirement and therefore cannot claim that proper notice of the special meeting was not given.

Point Two (25%)

A quorum was present at the special meeting of the board of directors.

In order for action taken at a special meeting of directors to be proper, a quorum must be present at the meeting. MBCA § 8.24(c). Unless the articles of incorporation or bylaws provide otherwise, when a corporation has a fixed number of directors, a quorum consists of a majority of that fixed number. *Id.* § 8.24(a)(1).

Here, the facts state that the corporation's articles of incorporation mandate a seven-member board of directors and its articles of incorporation and bylaws contain no special provisions regarding the board of directors. Therefore, a quorum for the corporation's purposes consists of four directors. Here, while not all seven members of the board of directors were legally present at the special meeting, five of them (all but Alan and Barb) were (*see* Point Three). Therefore, a quorum was present, and the meeting was legally held.

Point Three (25%)

The purchase of the asset did not receive the required number of votes and was therefore not properly approved by the board of directors.

Unless the articles of incorporation or bylaws provide otherwise, if a quorum is present when a vote is taken, a majority vote of directors present is the act of the board of directors. MBCA § 8.24(c). Here, a quorum was present when the vote was taken (*see* Point Two). However, there were only five members of the board of directors present at the special meeting. Alan and Barb were not legally present.

While directors generally are entitled to participate in special meetings over the telephone, as Alan and Barb attempted to do, such participation is valid only if *all* directors participating "may simultaneously hear each other during the meeting." MBCA § 8.20. Only directors who satisfy this requirement are deemed to be present at the meeting. *Id.* Here, the facts state that Alan and Barb could hear and be heard by the five directors present in the conference room but that Alan and Barb could not hear each other. Because Alan and Barb could not hear each other, neither was legally present at the meeting.

Because Alan and Barb were not legally present at the meeting, their votes on the purchase of the asset may not be counted. Therefore, the vote on the purchase of the asset was two votes in favor and three votes against, and the purchase of the asset was not approved by the board of directors.

July 2012
MEE Questions
and Analyses

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* Used as one of the six questions on the July 2012 Uniform Bar Examination in Alabama, Arizona, Colorado, Idaho, Missouri, and North Dakota.

Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the July 2012 MEE. Each test includes nine 30-minute questions; user jurisdictions may elect which of the nine questions they wish to use. (Jurisdictions that administer the Uniform Bar Examination [UBE] use a common set of six MEE questions as part of their bar examinations.) In the actual test, the questions are simply numbered rather than being identified by area of law. The instructions for the test appear on page iii. For more information, see the *MEE Information Booklet*, available on the NCBE website at www.ncbex.org.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, followed by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Federal Civil Procedure question on the July 2012 MEE tested the following areas from the Federal Civil Procedure outline: IV.A., Pretrial procedures—pleadings and motions, and VI.B., Verdicts and judgments—judicial findings and conclusions. Subject matter outlines are included in the *MEE Information Booklet*.

Description of the MEE

The MEE consists of nine 30-minute essay questions, any of which a jurisdiction may select to include as part of its bar examination. (UBE jurisdictions use a common set of six MEE questions as part of their bar examinations.) It is administered by participating jurisdictions on the Tuesday before the last Wednesday in February and July of each year. The areas of law that may be covered by the questions on any MEE are Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Conflict of Laws, Constitutional Law, Contracts, Criminal Law and Procedure, Evidence, Family Law, Federal Civil Procedure, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Uniform Commercial Code (Negotiable Instruments and Bank Deposits and Collections; Secured Transactions). Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Answer all questions according to generally accepted fundamental legal principles unless your jurisdiction has instructed you to answer according to local case or statutory law. (UBE instructions: Answer all questions according to generally accepted fundamental legal principles rather than local case or statutory law.)

July 2012 MEE

► *QUESTIONS*

Trusts and Future Interests

Criminal Law and Procedure

Constitutional Law

Family Law

Secured Transactions

Torts

Federal Civil Procedure

Corporations and Limited Liability Companies

Decedents' Estates/Conflict of Laws

TRUSTS AND FUTURE INTERESTS QUESTION

Thirty years ago, Settlor entered into an irrevocable trust agreement with Trustee. Pursuant to the terms of this trust, all trust income was payable to Settlor's Husband, and upon Husband's death, all trust assets were to be distributed to "Settlor's children." The trust also provided that Husband's income interest would terminate if Husband remarried after Settlor's death.

When the trust was created, Settlor and Husband had three children. Five years later, Settlor and Husband had a fourth child.

Ten years later, Settlor died.

This year, when the trust principal was worth \$750,000, Husband wrote to his four children. Husband noted that he was about to retire and wanted cash to buy a retirement home. He asked the children to agree to terminate the trust and to direct Trustee to distribute \$250,000 of trust principal to Husband and the remaining \$500,000, in equal shares, to the four children. All four children agreed to Husband's proposal. Husband and the four children then wrote Trustee the following letter:

We, the only beneficiaries of the trust, direct you to terminate the trust and distribute \$250,000 of trust assets to Husband and the remainder, in equal shares, to Settlor's four children.

Trustee's response stated:

I cannot make the requested distribution to you for the following reasons:

- (1) The trust is irrevocable and cannot be terminated.
- (2) Even if the trust were terminable, termination would require the consent of all beneficiaries. This is not obtainable because, if a child of Settlor predeceases Husband, one or more of Settlor's future grandchildren might be entitled to trust assets at Husband's death.
- (3) Even if the trust were terminable, only the three children living when the trust was created have a beneficial interest in the trust; therefore no distribution of trust principal can be made to Settlor's youngest child.
- (4) The actuarial value of Husband's interest is only \$150,000. Therefore, even if the trust were terminable, any distribution of trust principal to Husband in excess of that amount would be a breach of trust.

Is Trustee correct? Explain.

CRIMINAL LAW AND PROCEDURE QUESTION

At 9:00 p.m. on a Sunday evening, Adam, age 18, proposed to his friend Bob, also age 18, that they dump Adam's collection of 2,000 marbles at a nearby intersection. "It'll be funny," Adam said. "When cars come by, they'll slip on the marbles and they won't be able to stop at the stop sign. The drivers won't know what happened, and they'll get really mad. We can hide nearby and watch." "That's a stupid idea," Bob said. "In the first place, this town is deserted on Sunday night. Nobody will even drive through the intersection. In the second place, I'll bet the cars just drive right over the marbles without any trouble at all. It'll be a total non-event." "Oh, I'll bet someone will come," Adam replied. "And I'll bet they'll have trouble; maybe there will even be a crash. But if you're not interested, fine. You don't have to do anything. Just give me a ride to the intersection—these bags of marbles are heavy."

At 10:00 p.m. that same night, Bob drove Adam and his bags of marbles to the intersection. Adam dumped several hundred marbles in front of each of the two stop signs at the intersection. Adam and Bob stayed for 20 minutes, waiting to see if anything happened. No one drove through the intersection, and Adam and Bob went home.

At 2:00 a.m., a woman drove through the intersection. Because of the marbles, she was unable to stop at the stop sign. Coincidentally, a man was driving through the intersection at the same time. The woman crashed into the side of the man's car. The man's eight-year-old child was sitting in the front seat without a seat belt, in violation of state law. The child was thrown from the car and killed. If the child had been properly secured with a seat belt, as required by state law, he would likely not have died.

Adam has been charged with involuntary manslaughter as defined at common law, and Bob has been charged with the same crime as an accomplice. State law does not recognize so-called "unlawful-act" involuntary manslaughter.

1. Could a jury properly find that Adam is guilty of involuntary manslaughter? Explain.
2. If a jury did find Adam guilty of involuntary manslaughter, could the jury properly find that Bob is guilty of involuntary manslaughter as an accomplice? Explain.

CONSTITUTIONAL LAW QUESTION

Congress recently enacted the Violence at Work Act (the Act).

Title I of the Act provides that an employee who has been injured in the workplace by the violent act of a coworker has a cause of action for damages against that coworker.

Title II of the Act imposes several duties on employers subject to the Act and creates a cause of action against employers who do not fulfill those duties. Section 201 provides that all employers, “including all States, their agencies and subdivisions,” who have more than 50 employees are subject to the Act. Section 202 requires employers subject to the Act to (i) train employees on certain methods of preventing and responding to workplace violence, (ii) conduct criminal background checks on job applicants, and (iii) establish a hotline to report workplace violence. Section 203 provides that if an employer subject to the Act does not fulfill the duties imposed by Section 202, an employee who has been injured by the violent act of a fellow employee may recover damages from the employer for the harm resulting from that violent act. Section 204 provides that any action brought pursuant to Section 203 may be brought in federal or state court and that “if brought in federal court against a State, its agencies or subdivisions, any defense of immunity under the Eleventh Amendment to the United States Constitution is abrogated.”

The House and Senate committee reports on the Act note that Congress passed the Act under its power to regulate interstate commerce. To support its use of that power, Congress found that acts of workplace violence directly interfere with economic activity by causing damage to business property, injury to workers, and lost work time due to the violent acts and their aftermath. The House report estimated that total interstate economic activity is diminished by \$5 to \$10 billion per year as a result of losses associated with workplace violence.

After the Act’s effective date, an employee of a state agency was injured in the workplace by the violent act of a disgruntled coworker. The state agency, which has over 100 employees, conceded that it had not implemented the measures required by Section 202 of the Act. Accordingly, the employee has sued the state agency in United States District Court to recover damages for the harm caused by the act of workplace violence. The state agency has moved to dismiss the lawsuit on three grounds: (1) Congress did not have the power to enact the Act, (2) Congress did not have the power to apply the Act to state agencies, and (3) the Eleventh Amendment bars the employee’s lawsuit.

1. Is the Act a valid exercise of Congress’s power to regulate interstate commerce? Explain.
2. Assuming that the Act is a valid exercise of Congress’s power, may the Act constitutionally be applied to state agencies as employers? Explain.
3. Does the Eleventh Amendment bar the employee’s lawsuit in federal court against the state agency? Explain.

FAMILY LAW QUESTION

Fifteen years ago, Mom and Dad were married in State A, where both were domiciled.

Fourteen years ago, Mom gave birth to Daughter in State A. Dad is Daughter's biological father.

Four years ago, Dad died in State A. After Dad's death, Mom relied heavily on Dad's parents, Grandparents. Mom and Daughter moved to an apartment near Grandparents in State A. Thereafter, Grandparents visited Mom's home at least once a week. Daughter was also a frequent visitor at Grandparents' home. Grandparents also helped Mom to support Daughter financially.

Four months ago, Mom married Stepdad and moved with Daughter to Stepdad's home in State B, 500 miles from Mom's former residence in State A. Stepdad believes that Grandparents discouraged Mom's marriage to him, and he asked Mom not to invite Grandparents to visit. Mom agreed to Stepdad's request. However, she allowed Daughter to visit Grandparents in State A during a school vacation.

One week ago, Grandparents sent Daughter a bus ticket. Without revealing her plans to Mom, Daughter used the ticket to go to Grandparents' home in State A. When she arrived at Grandparents' home, Daughter telephoned Mom and said, "I hate State B, I dislike Stepdad, and I want to live with Grandparents in State A until you leave Stepdad and return to State A, too."

On the same day that Mom received this telephone call, she was served with a summons to appear in a State A court proceeding, brought by Grandparents, in which Grandparents seek custody of Daughter. Grandparents' petition was brought pursuant to a State A statute that authorizes the award of child custody to a grandparent when the court finds that (1) the "child has been abandoned or one of the child's parents has died" and (2) an award of custody to the petitioner grandparent "serves the child's best interests."

Both State A and State B have enacted the Uniform Child Custody Jurisdiction and Enforcement Act (UCCJEA).

Mom has sought advice from your law firm. She asks the following questions:

1. Does State A have jurisdiction to award custody of Daughter to Grandparents? Explain.
2. On the merits, may a court deny Grandparents' custody petition if Daughter testifies that she wants to live with Grandparents? Explain.
3. Is the State A statute authorizing the award of custody to grandparents constitutional? Explain.

SECURED TRANSACTIONS QUESTION

On March 1, Recycled, a business that sells new and used bicycles and bicycle equipment, borrowed \$100,000 from Bank. To secure its obligation to repay the loan, Recycled signed an agreement granting Bank a security interest in “all the inventory of Recycled, whether now owned or hereafter acquired.”

On March 5, Bank filed a financing statement in the appropriate state office. The financing statement listed Recycled as debtor and “inventory” as collateral.

Over the next month, Recycled entered into the following transactions:

(a) On March 10, Recycled sold a new bicycle to Consumer for \$1,500. The sale was made in accordance with the usual business practices of Recycled. Both parties acted honestly and in accordance with reasonable commercial standards of fair dealing, and Consumer was unaware of the financial relationship between Recycled and Bank.

(b) On March 15, Recycled traded a used bicycle to Student for a used computer that Student no longer needed. Recycled immediately began using the computer in its business.

(c) On March 31, Recycled bought 100 new bicycle helmets from Manufacturer. The sale was on credit, with payment due in 15 days. The written sales agreement, signed by Recycled, states that Manufacturer retains title to the helmets until Recycled pays their purchase price to Manufacturer. No financing statement was filed. None of the helmets has been sold by Recycled.

Recycled has not paid its utility bills for several months. On April 29, Utility obtained a judgment in the amount of \$2,500 against Recycled and, pursuant to state law, obtained a judgment lien against all the personal property of Recycled.

Recycled is in default on its repayment obligation to Bank, and it has not paid the amount it owes to Manufacturer.

Bank claims a security interest in all the bicycles and bicycle helmets owned by Recycled, the bicycle bought by Consumer, and the computer obtained by Recycled in the transaction with Student. Manufacturer claims an interest in the bicycle helmets, and Utility seeks to enforce its lien against all the personal property of Recycled.

1. As between Bank and Consumer, which has a superior claim to the bicycle sold to Consumer? Explain.
2. As between Bank and Utility, which has a superior claim to the used computer? Explain.
3. As among Bank, Manufacturer, and Utility, which has a superior claim to the 100 bicycle helmets? Explain.

TORTS QUESTION

Susan, a student at University, lived in a University dormitory. Access to Susan's dormitory was restricted to dormitory residents and guests who entered the dormitory with a resident. Entry to the dormitory was controlled by key cards. Dormitory key cards opened all doors except for a rear entrance, used only for deliveries, that was secured with a deadbolt lock.

On November 30, at 2:00 a.m., Ann, a University graduate, entered the dormitory through the rear entrance. Ann was able to enter because the deadbolt lock had broken during a delivery four days before Ann's entry and had not been repaired. Ann attacked Susan, who was studying alone in the dormitory's library.

Jim, another resident of Susan's dormitory, passed the library shortly after Ann had attacked Susan. The door was open, and Jim saw Susan lying on the floor, groaning. Jim told Susan, "I'll go for help right now." Jim then closed the library door and went to the University security office. However, the security office was closed, and Jim took no other steps to help Susan. About half an hour after Jim closed the library door, Susan got up and walked to the University hospital, where she received immediate treatment for minor physical injuries.

One day after Ann's attack, Susan began to experience mental and physical symptoms (e.g., insomnia, anxiety, rapid breathing, nausea, muscle tension, and sweating). Susan's doctor has concluded that these symptoms are due to post-traumatic stress disorder (PTSD). According to the doctor, Susan's PTSD was caused by trauma she suffered one month before Ann's attack when Susan was robbed at gunpoint. In the doctor's opinion, although Susan had no symptoms of PTSD until after Ann's attack, Ann's attack triggered PTSD symptoms because Susan was suffering from PTSD caused by the earlier robbery. The symptoms became so severe that Susan had to withdraw from school. She now sees a psychologist weekly.

Since the attack, Susan has learned that Ann suffers from schizophrenia, a serious mental illness. From August through November, Ann had been receiving weekly outpatient psychiatric treatment from her Psychiatrist. Her Psychiatrist's records show that on November 20, Ann told her Psychiatrist that she "was going to make sure" that former University classmates who were "cheaters" got "what was coming to them for getting the good grades I should have received." Ann's Psychiatrist did not report these threats to anyone because Ann had no history of violent behavior. Ann's Psychiatrist also did not believe that Ann would take any action based on her statements.

At the time of the attack, Susan knew Ann only slightly because they had been in one class together the previous semester. Susan received an A in that class.

Susan is seeking damages for the injuries she suffered as a result of Ann's attack and has sued University, Jim, and Ann's Psychiatrist.

1. May Susan recover damages for physical injuries she suffered in Ann's attack from
 - (a) University? Explain.
 - (b) Jim? Explain.
 - (c) Ann's Psychiatrist? Explain.
2. Assuming that any party is found liable to Susan, may she also recover damages from that party for the PTSD symptoms she is experiencing? Explain.

FEDERAL CIVIL PROCEDURE QUESTION

Plaintiff, a female employee of Defendant, a large manufacturing firm, sued Defendant in federal district court for violating a federal statute that creates a right to be free of sex discrimination in the workplace.

Plaintiff alleged the following: (1) Plaintiff worked for Defendant in a position for which females had seldom been hired in the past. (2) Shortly after Plaintiff was hired, male coworkers began to make sexually charged remarks to Plaintiff. (3) Plaintiff's male supervisor asked her out on dates and became angry each time she refused. (4) There were occasional incidents in which the supervisor or another male worker "accidentally" made contact with various parts of Plaintiff's body. (5) No one from company management ever took steps to monitor or limit behavior of this sort. (6) As a result of this behavior, Plaintiff began to suffer from various physical ailments that were related to stress. (7) Plaintiff made no complaint to management about the situation because the job paid very well and there were, to her knowledge, no comparable opportunities that would be available to her if she lost this particular job.

Defendant's answer to the complaint admitted that Plaintiff was an employee and that the individual named as her supervisor was her supervisor. Defendant denied all allegations relating to the alleged sex discrimination.

A well-established affirmative defense is available in cases of this sort if the defendant employer proves that (a) the plaintiff employee was not subject to any adverse job action (firing, demotion, loss of promotion opportunity, etc.), (b) the employer exercised reasonable care to prevent and promptly correct any sexually harassing behavior, and (c) the plaintiff employee unreasonably failed to take advantage of any preventive or corrective opportunities provided by the employer.

In a pretrial deposition, Plaintiff admitted that she had suffered no loss of pay or promotion opportunity. Plaintiff also admitted that she was aware of company policies forbidding sex discrimination and sexual harassment, as well as the procedures that employees could use to complain about perceived discrimination. Plaintiff stated that although she was aware of those policies and procedures, she had not seen any effort on the part of Defendant to enforce the policies and was afraid that she would suffer retaliation if she made use of the procedures available to complain of sex discrimination.

After the close of discovery, Defendant moved to amend its answer to add the affirmative defense set forth above. It also moved for summary judgment, claiming that Plaintiff's deposition testimony sufficiently established the elements of the affirmative defense to warrant a judgment in Defendant's favor.

Plaintiff opposed both motions. The trial judge ruled in Defendant's favor, allowing the amendment and granting summary judgment.

Did the judge err? Explain.

CORPORATIONS AND LIMITED LIABILITY COMPANIES QUESTION

Acme Inc. manufactures building materials, including concrete, for sale to construction companies. To create a market for its building materials, Acme enters into agreements with construction companies under which Acme and the construction company agree to form a member-managed limited liability company (LLC). The LLC builds the project, purchasing building materials from Acme and contracting for construction services with the construction company.

The operating agreements for these LLCs always provide that Acme has a 55% voting interest, that Acme and the construction company contribute equally to the capital of the venture, and that the parties share in profits at a negotiated rate. The agreements are silent as to the allocation of losses.

Acme entered into such a relationship with Brown Construction Co. LLC (Brown), forming Acme-Brown LLC (A-B LLC) to build 50 homes. The operating agreement for A-B LLC gives Acme a 55% voting interest and provides for a 20%/80% division of profits in favor of Brown.

A-B LLC built all 50 homes and sold them to homeowners. The members received a distribution of profits from the sales, split between them according to their agreement on the division of profits. However, all the concrete manufactured by Acme and sold to A-B LLC for the foundations of the homes proved to be defective. After a year, the concrete dissolved, collapsing the homes and rendering them worthless. In a class action by the homeowners against A-B LLC, the plaintiffs were awarded a \$15 million judgment. The LLC has no assets with which to pay the judgment.

Although Acme would be liable to A-B LLC for the loss caused by the defective concrete, A-B LLC has not brought a claim against Acme. Acme has the financial resources to pay damages equal to the amount of the \$15 million judgment in the homeowners' lawsuit and to fully cover A-B LLC's liability.

Brown has sent a letter to A-B LLC demanding that A-B LLC bring a claim against Acme to recover those damages and pay the judgment to the plaintiffs, after which A-B LLC would be dissolved. But Acme, as the manager of A-B LLC, has refused to do so.

Acme's lawyer has sent a letter to Brown stating the following:

- (1) Acme has no fiduciary obligations to either A-B LLC or Brown that require it to have A-B LLC bring the concrete claim against Acme.
- (2) Brown cannot bring a claim against Acme.
- (3) Brown does not have sufficient grounds to seek the judicial dissolution of A-B LLC.
- (4) Because the A-B LLC agreement provides for a 20%/80% division of profits, the losses arising from the judgment obtained by the plaintiffs against the LLC should also be allocated 20% to Acme and 80% to Brown.

Is Acme's lawyer correct? Explain.

DECEDENTS' ESTATES/CONFLICT OF LAWS QUESTION

Zach died a domiciliary of State A. At Zach's death, he owned a house located in State A. Zach also owned a farm located in State B and had a savings account at a bank in State B.

Zach left a handwritten document containing instructions for the disposition of his assets. The only words on this document were the following:

I, Zach, being of sound and disposing mind, leave my entire estate to my alma mater, University. I appoint Bank as executor of my estate.

Zach's wife predeceased him. Zach was survived by three children, Alex, Brian, and Carrie. Alex was the biological child of Zach and his deceased wife. Brian was the biological child of Zach's deceased wife and her first husband, but Zach adopted Brian when Brian was 12. Carrie was the biological child of Zach and a woman whom Zach never married. Zach's paternity of Carrie was adjudicated during Zach's lifetime.

State A law provides that a holographic will "entirely handwritten and signed at the end by the testator" is valid. State A law also provides that if a decedent dies intestate and leaves no surviving spouse, the decedent's estate passes in equal shares to the decedent's "surviving children." The phrase "surviving children" is defined to exclude "nonmarital children." There are no other relevant statutes in State A.

State B law provides that (1) the will of a nonresident that bequeaths real property located in State B must comply with the law of State B; (2) a will is invalid unless it was signed by the testator and two witnesses; and (3) the estate of an intestate decedent who leaves no surviving spouse passes to the decedent's "biological and adopted children, in equal shares." There are no other relevant statutes in State B.

How should Zach's three assets be distributed? Explain.

July 2012 MEE

ANALYSES

Trusts and Future Interests

Criminal Law and Procedure

Constitutional Law

Family Law

Secured Transactions

Torts

Federal Civil Procedure

Corporations and Limited Liability Companies

Decedents' Estates/Conflict of Laws

TRUSTS AND FUTURE INTERESTS ANALYSIS

(Trusts and Future Interests I.C.2., H., I.; III.B., E.)

ANALYSIS

Legal Problems

- (1) Is there a material purpose of the trust yet to be performed?
- (2) Do Settlor's children have the only remainder interest in the trust?
- (3) Was the class gift in favor of Settlor's children open to admit Settlor's fourth child?
- (4) Would Trustee breach any fiduciary duties by terminating the trust as requested?

DISCUSSION

Summary

Husband and Settlor's four children may terminate the irrevocable trust if a court finds that they are the only trust beneficiaries and there is no material purpose of the trust yet to be performed. It is unclear whether Settlor's desire to terminate Husband's interest if Husband remarries would be viewed as a material purpose of the trust yet to be performed.

Under the common law, only Husband and Settlor's children have an interest in the trust, as the children's interest is not subject to any conditions. The children's interest is both vested and transmissible. However, if the jurisdiction has adopted a survivorship statute like Uniform Probate Code (UPC) § 2-707, then the children and Husband would not be the only trust beneficiaries. Under that statute, if a child dies before Husband leaving surviving issue, the issue would also have an interest in the trust.

Because Settlor's class gift to "Settlor's children" remained open until Settlor's death, all four children are entitled to share in the trust remainder.

The proposed distribution of principal, which would give Husband more than the actuarial value of Husband's interest, would not breach any fiduciary duty because it would be made at the request of all trust beneficiaries.

Thus, unless UPC § 2-707 or a like statute applies or there is a material purpose of the trust yet to be performed, Trustee's assertions are incorrect.

Point One (35%)

Husband and Settlor's four children may terminate the irrevocable trust if a court finds that there is no material purpose of the trust yet to be performed. However, if a court were to find that the limitation on remarriage was a material purpose, the trust could not be terminated merely with the consent of Husband and the four children.

Generally, even an irrevocable trust can be terminated prior to the death of all income beneficiaries if both the income beneficiaries and the remaindermen unanimously consent. *See generally* RESTATEMENT (THIRD) OF TRUSTS § 65(1) (2003). *See also* Point Two. However, if there is a material purpose of the trust yet to be performed, the beneficiaries alone may not terminate the trust. *Id.* § 65(2).

Here, it is unclear whether there is a material purpose yet to be performed. According to the Restatement, a material purpose should not be inferred from “[t]he mere fact that the settlor . . . created a trust for successive beneficiaries. . . . In the absence of additional circumstances indicating a further purpose, the inference is that the trust was intended merely to allow one or more persons to enjoy the benefits of the property during the period of the trust and to allow the . . . other beneficiaries to receive the property thereafter.” *Id.* at cmt. However, the trust provision specifying that Husband’s interest terminates upon his remarriage arguably demonstrates that a material purpose of Settlor was ensuring that trust assets did not benefit Husband’s second wife. If Settlor did have such a material purpose, the proposed distribution of \$250,000 to Husband could defeat that purpose should Husband remarry.

If the court were to find that Settlor had a material purpose that would be defeated by trust termination, it is unclear whether a court would permit termination of the trust. Under the First and Second Restatements of Trusts, “if the continuance of the trust is necessary to carry out a material purpose of the trust, the beneficiaries cannot compel its termination.” RESTATEMENT (FIRST) OF TRUSTS § 337(2); RESTATEMENT (SECOND) OF TRUSTS § 337(2). Similarly, the Uniform Trust Code § 411(b) provides that “[a] noncharitable irrevocable trust may be terminated upon consent of all of the beneficiaries [only] if the court concludes that continuance of the trust is not necessary to achieve any material purpose of the trust.”

However, under the Third Restatement of Trusts, which no court to date has followed, even if the court finds that the settlor had a material purpose that trust termination might defeat, it may nonetheless approve trust termination if “the reason for termination or modification outweighs the material purpose.” RESTATEMENT (THIRD) OF TRUSTS § 65(2).

If the court were to employ the balancing approach approved by the Third Restatement, it is unclear what decision it would reach on the available facts. The reason for trust termination is to provide Husband with cash for his impending retirement. Without knowing more about Husband’s finances and the income available from the trust, it is impossible to assess how Husband’s goal compares to Settlor’s goal of ensuring that no future spouse of Husband receives benefits traceable to trust assets.

[NOTE: While conditioning the continuation of a child’s income interest on the child’s marriage or divorce is void on public policy grounds, a similar marriage restriction tied to the surviving spouse’s interest is not.]

[NOTE: The Uniform Trust Code has been adopted in Alabama, Arizona, Arkansas, the District of Columbia, Florida, Kansas, Maine, Massachusetts, Michigan, Missouri, Nebraska, New Hampshire, New Mexico, North Carolina, North Dakota, Ohio, Oregon, Pennsylvania, South Carolina, Tennessee, Utah, Vermont, Virginia, West Virginia, and Wyoming.]

Point Two (30%)

Under the common law, Settlor’s children are the only trust remaindermen. Because each child’s interest is vested and transmissible, it would pass to the child’s estate, not the child’s issue, should the child predecease Husband. Thus, the four children and Husband are the only beneficiaries of the trust and could consent to terminate the trust. However, under UPC § 2-707 alternative remainder interests are created in the issue of any of Settlor’s children who predecease Husband.

A class gift is a gift to a group of persons described collectively, typically by their relationship to a common ancestor. *See* RESTATEMENT OF PROPERTY (WILLS AND DONATIVE TRANSFERS) § 13.1 (2004). Here, the gift to “Settlor’s children” is a class gift.

Under the common law, when a class gift is made to a group who are equally related to a common ancestor *and* the gift is not expressly subject to a condition of survivorship, the gift is *not* impliedly subject to such a condition. *See id.* § 15.4 (incorporating the common law rule). If a member of such a class fails to survive until the time of distribution (here, Husband’s death), that member’s share passes to his or her estate, not to his or her issue. *Id.*

Here, the remainder interest in the trust is limited to a class of “Settlor’s children.” All class members are equally related to a common ancestor, Settlor, and the trust imposes no express condition of survivorship. Therefore, each child has a vested and transmissible interest that would pass to his or her estate should the child die before the distribution date. If the common law applies, then only Husband and the four children are the beneficiaries of the trust and, if there is no material purpose to be performed (*see* Point One), they could consent to a termination of the trust.

Critics of the common law approach have argued that it fails to carry out the intentions of the typical trust settlor, permits a deceased beneficiary to transmit her share of trust assets to persons who are “strangers” to the settlor, and increases administrative costs by requiring the reopening of deceased beneficiaries’ estates and possibly successive estates. In response to these criticisms, some modern statutes do not follow the common law approach. For example, UPC § 2-707 provides that when a beneficiary does not survive to the distribution date, the beneficiary’s interest passes to his or her issue unless the trust instrument specifies an alternate disposition. Here, under the Uniform Probate Code approach, issue of a deceased child would have beneficial interest in the trust and would have to be part of any termination effort unless their interest could be represented by another.

Section 304 of the Uniform Trust Code provides: “Unless otherwise represented, a minor, incapacitated, or unborn individual, . . . may be represented by and bound by another having a substantially identical interest with respect to the particular question or dispute, but only to the extent there is no conflict of interest between the representative and the person represented.” This statute permits one group of remaindermen to represent another group of remaindermen in the absence of a conflict of interest. Here, the four children and their issue would have a conflict in light of the proposed distribution that would exclude the issue from potentially sharing in any trust assets. Thus, under UPC § 2-707 or a like statute, the trust could not be terminated merely with the consent of Husband and the four children.

[NOTE: Section 2-707 of the Uniform Probate Code has been adopted in Alaska, Arizona, Colorado, Hawaii, Michigan, Montana, New Mexico, North Dakota, and Utah.]

Point Three (25%)

Settlor’s youngest child is entitled to a share of the trust because that child was born and became a class member before the class closed.

As noted under Point Two, the gift to “Settlor’s children” was a class gift. When a class gift is made to a group of individuals, such as the children of a named person, the class does not “close” (that is, additional individuals may join the class by satisfying the class eligibility requirements) until the named person dies or the gift becomes possessory. *See* WILLIAM M. MCGOVERN AND SHELDON F. KURTZ, WILLS, TRUSTS AND ESTATES 429 (3d ed. 2004); RESTATEMENT (THIRD) OF PROPERTY (WILLS AND OTHER DONATIVE TRANSFERS) § 15.1 cmt. e.

Here, Settlor's fourth child was born prior to Settlor's death and therefore joined the class before it closed. Thus, this child is entitled to a share of the trust property.

Point Four (10%)

While Trustee has a duty to carry out the terms of the trust, when the trust beneficiaries properly terminate the trust, they can direct that the trust property be distributed in a manner of their own choosing, and a distribution consistent with the beneficiaries' direction is not a breach of trust.

If trust beneficiaries properly terminate a trust, trust assets vest in them. After termination, the beneficiaries may themselves distribute trust assets in any manner they choose. They may also direct a trustee to distribute trust assets as their agent. A trustee who complies with such directions does not violate any fiduciary duty. *See* UNIF. TRUST CODE § 411.

Here, assuming that the trust beneficiaries may terminate the trust, Trustee may comply with their distribution instructions. The fact that Husband would receive more than the actuarial value of his life estate does not, under these circumstances, constitute a breach of trust. Moreover, even if Trustee were breaching a fiduciary obligation in complying with the children's directions, they would be deemed to waive any claims against Trustee because they ordered the distribution. *See, e.g., id.* § 1009.

CRIMINAL LAW AND PROCEDURE ANALYSIS

(Criminal Law and Procedure I.B.1. & 2.; III.B.; IV.B.1., D.)

ANALYSIS

Legal Problems

- (1)(a) What are the elements of involuntary manslaughter?
- (1)(b) Did Adam act with mens rea required to be guilty of involuntary manslaughter?
- (1)(c) Were Adam's actions the legal cause of the child's death?
- (2) Can Bob be liable as an accomplice for the child's death?

DISCUSSION

Summary

A jury could find Adam guilty of involuntary manslaughter both in a jurisdiction that requires recklessness and in one that requires only gross negligence (sometimes referred to as criminal or culpable negligence). In a jurisdiction that requires recklessness, Adam's statements indicate that he was aware that his conduct created an unreasonable (or high and unreasonable) risk of death or serious bodily injury and that he consciously disregarded that risk. In a jurisdiction that requires gross negligence, a jury could find Adam guilty because a reasonable person under similar circumstances would have been aware that his conduct created an unreasonable (or unreasonable and high) risk of death or serious bodily injury.

Adam's conduct was the cause of the child's death. Adam's conduct was the but-for cause of the child's death because if Adam had not placed the marbles on the road, the child would not have died. The fact that the child was not properly secured in the vehicle does not break the chain of causation because this outcome was foreseeable.

Bob did not commit an act that resulted in the death of the child, nor did he have a duty to stop Adam from committing that act. However, a jury could find Bob liable as an accomplice to Adam's involuntary manslaughter if he assisted in the act with the required mental state. Here, Bob intentionally assisted Adam in the act by driving him to the scene of the crime. In a jurisdiction that requires recklessness, Bob's statements indicate that he was not aware that his assistance created an unreasonable (or high and unreasonable) risk of death or serious bodily injury. Bob is more likely to be found guilty as an accomplice in a state that requires gross/criminal/culpable negligence, if a reasonable person under similar circumstances would have been aware of this risk.

Point One(a) (25%)

To be guilty of involuntary manslaughter, a person must cause the death of another human being by conduct that creates an unreasonable (or high and unreasonable) risk of death or serious bodily injury. The precise mens rea requirement will vary from jurisdiction to jurisdiction.

In most jurisdictions, a defendant is guilty of involuntary manslaughter when the defendant causes the death of another human being by engaging in conduct that creates an unreasonable (or high and unreasonable) risk of death or serious bodily injury. WAYNE R. LAFAVE, CRIMINAL LAW § 15.4(a) (5th ed. 2010).

The modern and majority view is that the defendant must have acted “recklessly” to be convicted of involuntary manslaughter (i.e., the defendant must have been aware of the unreasonable (or unreasonable and high) risk of death or serious bodily injury that his conduct created). Recklessness is typically defined as conscious disregard of a known risk, *see, e.g.*, MODEL PENAL CODE § 2.02(c).

In other jurisdictions it is enough if the defendant acted with greater than ordinary negligence, which some states call “gross,” “criminal,” or “culpable” negligence. *See* C.T. Foster, Annotation, *Test or Criterion of Term “Culpable Negligence,” “Criminal Negligence,” or “Gross Negligence,” Appearing in Statute Defining or Governing Manslaughter*, 161 A.L.R. 10 (1946). In these states, even if the defendant was unaware of the risk, the defendant could be found guilty if an ordinary person in the defendant’s situation would have been aware that her conduct created an unreasonable (or unreasonable and high) risk of death or serious bodily injury.

Adam will be guilty of involuntary manslaughter only if he acted with the requisite degree of culpability and his conduct was the legal cause of the child’s death.

Point One(b) (25%)

A jury could conclude from Adam’s statements and actions that he acted with a mens rea of recklessness or gross negligence.

In order to determine whether Adam has committed involuntary manslaughter, his mens rea with regard to the result must be assessed.

In most jurisdictions, Adam can only be convicted of involuntary manslaughter if the fact finder concludes that he acted “recklessly” by consciously disregarding the unreasonable (or high and unreasonable) risk of death or serious bodily injury that his conduct created. In these jurisdictions, the prosecution will argue that Adam’s statements indicating that he knew that the marbles could cause an accident, including his statements that “When cars come by, they’ll slip on the marbles and they won’t be able to stop,” and that “They’ll have trouble; maybe there will even be a crash,” demonstrate that Adam was aware of the risk. The prosecution will also argue that Adam (like everyone else) knows that serious bodily injury and death are frequent outcomes of car crashes.

Adam will likely respond in several ways. First, he will contend that he was not reckless because he did not consciously disregard an unreasonable (or unreasonable and high) risk of death or serious bodily injury resulting from the accident. His statements indicated, he will argue, that he believed that drivers would lose control of their vehicles and would get mad and that there might be a crash, but did not suggest any awareness of the risk that someone would die or suffer serious bodily injury. He could also argue that no crash occurred while he watched the intersection, that traffic at the intersection was usually light, and that he was not aware of the risk that two cars would crash into each other, particularly at 2 a.m.

On the whole, a jury could conclude that Adam’s statements indicate that he was clearly aware that his actions could cause a car crash and every reasonable person knows that car crashes can cause death or serious bodily injury. Adam’s statement “I’ll bet someone will come” specifically suggests that he believed that cars would drive through the intersection that evening.

To prove that Adam had a mens rea of recklessness, the prosecution does not need to prove that Adam knew the precise time or circumstances of the resulting crash. If, however, the fact finder accepts that Adam did not consciously disregard an unreasonable (or unreasonable and high) risk of death or serious bodily injury from the resulting crash, he would not be guilty of involuntary manslaughter in a jurisdiction that requires recklessness for the crime.

In some jurisdictions, Adam can be convicted of involuntary manslaughter if the fact finder concludes that he acted with “gross,” “criminal,” or “culpable” negligence. In these jurisdictions, Adam can be convicted if a reasonable person in his situation would have been aware that his conduct created an unreasonable (or unreasonable and high) risk of death or serious bodily injury. It is highly likely that a fact finder would conclude that a reasonable person would be aware that conduct likely to cause vehicles to slip at an intersection creates an unreasonable (or unreasonable and high) risk of car crashes and death or serious bodily injury as a result of the crashes.

Point One(c) (25%)

Adam’s conduct was the but-for cause of the child’s death. His conduct was also the legal cause because no intervening event occurred that would be sufficient to break the chain of causation.

The state will need to prove that Adam caused the child’s death in order for Adam to be found guilty of involuntary manslaughter. Causation requires a showing of both causation in fact—otherwise known as but-for causation—and proximate causation. “[A] defendant’s conduct is a cause-in-fact of the prohibited result if the said result would *not* have occurred ‘but for’ the defendant’s conduct.” *Velazquez v. State*, 561 So. 2d 347, 350 (Fla. Dist. Ct. App. 1990) (emphasis in original). Adam was plainly the but-for cause of the child’s death. If Adam had not dumped the marbles at the intersection, the child would not have died.

The next question is whether Adam’s conduct was also the “proximate” cause of the child’s death. Proximate cause under the criminal law is complex to define (Prof. Joshua Dressler, in his hornbook UNDERSTANDING CRIMINAL LAW § 14.03[A] (5th ed. 2009), calls it “obscure”), but its core is foreseeability. *Kibbe v. Henderson*, 534 F.2d 493, 499 (2d Cir. 1976). Adam may argue that the child would not have died but for the fact that the man did not have his child properly secured in the vehicle. He may argue that this failure was an unforeseeable intervening cause—another but-for cause of the child’s death—and that in this case it should be treated as a superseding cause that should cut off his liability for the result. He may bolster this argument by noting that seat belts are required under state law. This argument should fail. It is true that the man’s failure to properly secure the child was an intervening cause of the child’s death. However, this intervening cause was not unforeseeable. Adam should have anticipated that some people, including children, who ride in cars are not properly secured by seat belts or child restraints.

Adam might also argue that the resulting car crash was such an extraordinary consequence of his action of dumping the marbles at the intersection that it would be unfair to hold him accountable. This argument should also fail because in these circumstances a car crash resulting in the death of a child who was not wearing a seat belt is not such an unusual or extraordinary consequence of Adam’s act as to justify relieving him of liability. *See State v. Hallett*, 619 P.2d 335, 339 (Utah 1980) (“[W]here a party by his wrongful conduct creates a condition of peril, his action can properly be found to be the proximate cause of a resulting injury, even though later events which combined to cause the injury may also be classified as negligent, so long as the later act is something which can reasonably be expected to follow in the natural sequence of events.”).

Point Two (25%)

Bob intentionally assisted Adam in his act of dumping the marbles on the road, but Bob may not have acted with the mens rea required to be held liable as an accomplice to involuntary manslaughter.

Two elements are necessary for Bob to be found guilty of involuntary manslaughter on a theory of accomplice liability. First, Bob must have assisted Adam in the commission of the crime. DRESSLER, *supra*, § 30.04[A][1]. Second, Bob must have acted with dual intentions: (1) “the intent to assist the primary party” and (2) “the intent that the primary party commit the offense charged.” *Id.* § 30.05[A]. In cases where the primary party’s crime is one involving recklessness or negligence, most jurisdictions hold that the second intent element is satisfied if the defendant intended to assist the primary party and otherwise acted with the mens rea required for the underlying offense (i.e., recklessness or negligence, as the jurisdiction requires). *Id.* § 30.05[B][3].

Here, Bob assisted Adam by driving him to the intersection. Even a small amount of assistance can suffice to create accomplice liability.

[NOTE: An examinee might also argue that Bob assisted Adam by staying with him and watching, on the theory that he provided some kind of encouragement to Adam. However, mere presence at a crime scene is not sufficient to constitute assistance, so accompanying Adam is probably not enough. *See State v. Noriega*, 928 P.2d 706, 708 (Ariz. Ct. App. 1996).]

Bob also appears to have acted with the intent of assisting Adam. When Bob drove Adam to the intersection, he knew that it was for the purpose of bringing Adam to that place so that Adam could dump the marbles in the intersection. Bob had no other purpose.

The next question is whether Bob’s mens rea with regard to the child’s death was sufficient for involuntary manslaughter. Bob will argue that he had no mens rea at all with regard to the child’s death and therefore can be guilty of no offense. He will also argue that his statements to Adam suggest that he believed (1) that no one was likely to drive through the intersection and (2) that the marbles would not cause any danger to any drivers who would simply drive over them. Accordingly, Bob will argue that he did not act with the culpability required to be held liable as an accomplice to involuntary manslaughter.

In most jurisdictions, Bob must have acted “recklessly” to be convicted as an accomplice to involuntary manslaughter (i.e., he must have been aware of the unreasonable (or unreasonable and high) risk of death or serious bodily injury that his conduct created). Based on Bob’s statements, he does not appear to have been reckless. The prosecution’s best argument would be that Bob knew about the risk because Adam told him that cars might crash. In response, Bob can argue that his statements demonstrate that he thought Adam was wrong about the risks of dumping the marbles.

In some jurisdictions, Bob can be convicted if he demonstrated “gross,” “criminal,” or “culpable” negligence (i.e., if an ordinary person in his situation would have been aware that his conduct created an unreasonable (or unreasonable and high) risk of death or serious bodily injury). In these states, Bob could be found guilty of involuntary manslaughter on a theory of accomplice liability if the fact finder believes that an ordinary person would have realized that placing 2,000 marbles on a road would interfere with the ability of cars to stop when they drove over the marbles, thereby creating an unreasonable (or unreasonable and high) risk of death or serious bodily injury.

In a few jurisdictions, Bob cannot have accomplice liability for involuntary manslaughter as a matter of law. In these jurisdictions, the courts adhere strictly to the requirement that an “accomplice must want the crime to be committed by the other party,” and they reason that it is

“logically impossible” for a person to be an accomplice to a crime of recklessness or negligence because one cannot “intend” a negligent or reckless killing. DRESSLER, *supra*, § 30.05[B][3]. In most jurisdictions, however, courts hold an accomplice responsible for a crime like manslaughter if the accomplice intentionally provided assistance to the principal and acted with recklessness or negligence, as the case may be, with respect to the risk that the principal’s behavior would cause death.

[NOTE: With respect to the “dual intent” issue, the key is whether examinees recognize that accomplice liability requires two levels of culpability. It is less important which approach examinees adopt than that they see the problem—Bob cannot be guilty as an accomplice unless he was culpable with respect to the underlying crime, and Bob, in fact, not only did not intend any car crash or resulting death, he actually did not believe that such an event would occur.]

CONSTITUTIONAL LAW ANALYSIS

(Constitutional Law I.B.3.; II.A.1.; III.A.2.)

ANALYSIS

Legal Problems

- (1) Does Congress have authority under the Commerce Clause to regulate employer precautions against workplace violence?
- (2) Do federalism principles bar Congress from applying the Act to state agencies as employers?
- (3) Does the Eleventh Amendment bar the employee's suit against the state?

DISCUSSION

Summary

Under the Commerce Clause, Congress has power to regulate economic activities that substantially affect interstate commerce. Here, the Act regulates a non-economic aspect of an economic activity (i.e., the employment relationship) that has a substantial effect (\$5 to \$10 billion per year) on interstate commerce. This regulation probably falls within the scope of the Commerce Clause, although at least one case can be read to suggest the opposite possibility. The Act does not violate federalism principles embodied in the Tenth Amendment to the Constitution by improperly commandeering states or by regulating state employers differently than private employers. However, the employee's federal court lawsuit is barred by the state agency's Eleventh Amendment immunity, and the Act cannot abrogate that immunity.

Point One (50%)

Congress has power under the Commerce Clause to regulate workplace violence only if the court concludes that the Act regulates an economic activity with a substantial aggregate effect on interstate commerce.

In *United States v. Lopez*, 514 U.S. 549 (1995), the Supreme Court of the United States clarified that Congress may enact three types of regulations under the Commerce Clause. First, Congress may regulate the channels of interstate commerce, which are the pathways through which interstate travel and communications pass. Examples of the channels include interstate highways and phone lines. Second, Congress may regulate the people and instrumentalities that work and travel in the channels of interstate commerce. Examples include people such as airline pilots and flight attendants, as well as the airplanes on which they travel. Third, Congress may regulate activities that substantially affect interstate commerce.

The Act does not fit within either of the first two *Lopez* categories. First, the statute applies to any workplace, regardless of its location, and so it does not narrowly regulate the channels of interstate commerce. Second, the Act applies to all employees and not only those people or instrumentalities in the channels of interstate commerce. Consequently, the Act will be valid only if it regulates an activity that substantially affects interstate commerce.

The key to satisfying the substantial effects requirement is the threshold determination of whether the regulated activity is economic or commercial in nature. When Congress regulates an economic or commercial activity, the Court will uphold the regulation if Congress had a rational basis for concluding that the class of activities subject to regulation, in the aggregate, has a substantial effect on interstate commerce. Aggregation on a national scale typically makes this an easy standard to meet. On the other hand, if the regulated activity is not economic or commercial in nature, the Court will not aggregate to find a substantial effect, and the standard becomes extremely difficult to meet. *See Gonzales v. Raich*, 545 U.S. 1 (2005); *United States v. Morrison*, 529 U.S. 598 (2000); *Lopez*, *supra*.

Therefore, the key question is whether violence in the workplace is an economic or commercial activity. In *Morrison*, the Court held that Congress exceeded its commerce power by enacting a statute giving a cause of action to the victims of gender-motivated violence. It therefore can be argued here, as *Morrison* held, that acts of violence are not economic or commercial in nature, and thus in applying the substantial effects test, the court may only measure the effect of the particular act of violence at issue in the suit and not the aggregate effect of all acts of violence in the workplace.

One could argue that *Morrison* is distinguishable because the statute at issue here is limited to violence in the workplace. The workplace is an economic environment, and workplace violence directly impedes productivity of the workplace. The court therefore should conclude that the statute at issue here is an economic regulation and thus is within the commerce power of Congress because, based on the facts given in the problem, Congress had a rational basis for concluding that workplace violence, in the aggregate, has a substantial effect on interstate commerce.

Point Two (20%)

The Act does not violate federalism principles because it regulates both public and private employers on the same terms.

In *Garcia v. San Antonio Metropolitan Transportation Authority*, 469 U.S. 528 (1985), the Supreme Court held that Congress may regulate the states on the same terms as private actors. For example, *Garcia* upheld application of the federal minimum wage and maximum hour law to both public and private employers. In *New York v. United States*, 505 U.S. 144 (1992), however, the Court held that Congress may not “commandeer” the states to regulate private conduct. In *New York v. United States*, the Court struck down a federal statute that commandeered states to regulate private disposal of low-level hazardous waste.

The Act does not commandeer the state to regulate private conduct. Instead, the Act merely requires both public and private employers to obey the same federal requirement—to address workplace violence under the threat of civil liability. It is true that the state, as an employer, must adopt policies and regulations to implement the Act’s mandates. But *Reno v. Condon*, 528 U.S. 141 (2000), clarifies that a federal mandate requiring state personnel to alter their own activities is not unconstitutional commandeering.

Point Three (30%)

The Eleventh Amendment bars the employee’s federal court lawsuit against the state, and the Act does not validly abrogate that immunity.

The Eleventh Amendment provides: “The Judicial power of the United States shall not be construed to extend to any suit in law or equity, commenced or prosecuted against one of the United States by Citizens of another State, or by Citizens or Subjects of any Foreign State.”

Despite the text of the Eleventh Amendment, the Supreme Court has interpreted it to bar lawsuits between a state and one of its own citizens, as well as lawsuits that arise under federal law. *See Seminole Tribe of Florida v. Florida*, 517 U.S. 44 (1996). Further, this immunity extends to state agencies. Consequently, the Eleventh Amendment would bar the employee’s lawsuit against the state agency in federal court, unless the Act validly abrogates the state’s immunity.

A federal statute abrogates Eleventh Amendment immunity if, first, the statute unambiguously asserts that it does so, and second, Congress enacted the statute under a power that may abrogate Eleventh Amendment state immunity. Here, the Act satisfies the first requirement because Section 204 unequivocally attempts to abrogate state Eleventh Amendment immunity. The Act fails the second requirement, however, because Congress did not pass the Act under a grant of power that may abrogate state immunity. In *Seminole Tribe*, the Court held that Article 1, section 8 of the Constitution does not grant Congress power to abrogate state sovereign immunity. (The Supreme Court has held that Congress can abrogate state immunity when it exercises its powers under amendments that postdate the Eleventh Amendment. By way of contrast, Section 5 of the Fourteenth Amendment does grant Congress that power. *See Fitzpatrick v. Bitzer*, 427 U.S. 445 (1976) (Fourteenth Amendment)). Because the Act does not validly abrogate the state’s Eleventh Amendment immunity, the District Court should dismiss the employee’s lawsuit.

FAMILY LAW ANALYSIS

(Family Law IV.A., B., E.; VI.F.)

ANALYSIS

Legal Problems

- (1) When a child has no “home state,” what state has jurisdiction to issue a valid child-custody decree?
- (2) Must a court defer to the preference of an older child when awarding custody?
- (3) Under the U.S. Constitution, may a state statute authorize a court to grant a grandparent custody of a child without giving any special weight to the best-interests determination of a fit and available parent?

DISCUSSION

Summary

Under the Uniform Child Custody Jurisdiction and Enforcement Act (UCCJEA), when a child has no “home state,” i.e., a state in which the child has resided for the prior six months, a state may exercise jurisdiction based on (1) “significant connections” with the child and at least one parent and (2) the existence of “substantial evidence” relating to child custody in the forum jurisdiction. Here, State A has significant connections with Daughter and Mom; substantial evidence related to child custody exists in State A, where Daughter and Grandparents are currently located and where Daughter was domiciled until very recently. Thus, State A has jurisdiction to make a custody award.

On the merits, a court may deny Grandparents’ custody petition even though Daughter strongly prefers to live with them. In all states, the preferences of a child are relevant to a determination of the child’s best interests in a custody proceeding, but they are not determinative.

However, the State A statute under which Grandparents have brought a custody petition is probably unconstitutional. In *Troxel v. Granville*, 530 U.S. 57 (2000), a plurality of the Supreme Court ruled that a state statute which authorized a court to grant visitation to “[a]ny person” based on a finding that such visitation was in “the best interest of the child” unconstitutionally interfered with the fundamental right of parents to rear their children. Although State A’s statute authorizing the award of custody to a nonparent based on the best interest of the child is limited to grandparents, it similarly grants “no special weight” to a parent’s determination of her child’s best interest and thus does not comport with the standards set forth in *Troxel*.

Point One (40%)

State A has jurisdiction because no state is Daughter’s “home state,” Daughter and Mom both have significant connections with State A, and substantial evidence is available in State A regarding Daughter’s care.

Under the Uniform Child Custody Jurisdiction and Enforcement Act, which has been widely adopted, a state has jurisdiction to make an initial child-custody determination if “this State is the home state of the child on the date of the commencement of the proceeding, or was the home State of the child within six months before the commencement of the proceeding and the child is absent from this State but a parent or person acting as a parent continues to live in this State” and no other state’s courts would have jurisdiction under the above standard or other courts having jurisdiction have declined to exercise it. UCCJEA § 201(a)(1) & (2).

Neither State A nor State B can claim jurisdiction under § 201(a)(1). A “home state” is the state in which the child “lived with a parent or a person acting as a parent for at least six consecutive months immediately before the commencement of a child-custody proceeding.” *Id.* § 102(7). Here, Daughter and Mom moved to State B only four months before the State A custody petition was filed in State A, so State B is not Daughter’s home state. State A was the home state of Daughter within six months of the proceeding commenced in State A. However, State A does not have home-state jurisdiction because neither statutory condition has been met: a parent (Mom) does not continue to live in State A, and the child is not absent from State A.

Under the UCCJEA, when—and only when—“a court of another state does not have jurisdiction under paragraph 1” (i.e., the home-state rule), a court may exercise jurisdiction over a child-custody determination if

- (2)(A) the child . . . and at least one parent . . . have a significant connection with this State other than mere physical presence; and
- (B) substantial evidence is available in this State concerning the child’s care, protection, training, and personal relationships. *Id.* § 201(a)(2).

Here, a State A court would have jurisdiction under § 201(a)(2) because Daughter and Mom both have a significant connection with State A and substantial evidence relating to Daughter’s care is available in State A: Mom was married in State A, gave birth to Daughter there, and lived there with Daughter from the time of her birth until four months ago. Daughter is currently in State A, and so are Grandparents. Other evidence related to Daughter’s schooling, friendships, and other personal relationships is also available in State A.

[NOTE: State B would also have jurisdiction under § 201(a)(2): Daughter and Mom both have a significant connection with State B as it is where they both lived until Daughter’s recent return to State A and substantial evidence from Mom, Stepdad, Daughter’s school, etc., is available in State B. However, under UCCJEA § 206(a), a court “may not exercise its jurisdiction . . . if . . . a proceeding concerning the custody of the child has been commenced in a court of another State having jurisdiction substantially in conformity with this [Act] . . .” Thus, State B could not exercise jurisdiction under § 201(a)(2) because a petition has been filed in State A.]

The federal Parental Kidnapping Prevention Act (PKPA) sets out child-custody jurisdictional standards much like those contained in the UCCJEA. Under the PKPA, a State A court would have jurisdiction because no state is Daughter’s home state, “the child and at least one contestant[] have a significant connection with . . . State [A] other than mere physical presence . . . and there is available in such State substantial evidence concerning the child’s present or future care. . . .” 28 U.S.C. § 1738A(c)(2)(B). Like the UCCJEA, the PKPA provides that where a court of another state is exercising jurisdiction that complies with the federal standard, another court shall not exercise jurisdiction. *Id.* § 1738A(g).

Thus, State A has jurisdiction over the custody action initiated by Grandparents.

[NOTE: In 2012, the UCCJEA had been adopted in all states except Massachusetts.]

Point Two (25%)

Although the wishes of an older child are relevant to a custody determination and are typically given great weight, they are not determinative; a court may thus deny Grandparents' custody petition over the express opposition of Daughter.

In all states, the views of a child who is mature enough to form and express a preference are relevant to a custody determination. The wishes of older children like Daughter are typically given substantial weight. *See* D.W. O'Neill, Annotation, *Child's Wishes as Factor in Awarding Custody*, 4 A.L.R. 3d 1396 (1965). However, the child's wishes "are not treated equally in every case":

Sometimes the child's wishes are given controlling effect, while at other times the wishes are disregarded altogether. The circumstances determining what effect, between these two extremes, should be given to a child's wishes in a particular case are, in addition to the comparative effect of objective factors affecting its welfare generally, . . . and in addition to the natural right of the child's parent to have its custody (frequently invoked successfully, at least in the absence of the parent's long-term abandonment of the child to another's custody): the child's age and judgment capacity; the basis for and strength of its preference, generally; the treatment extended to the child by the contestants for its custody; and the wrongful inducement of the child's wishes.

Id. § 2(a). *See also* Wanda Ellen Wakefield, Annotation, *Desire of Child as to Geographic Location of Residence or Domicile as Factor in Awarding Custody or Terminating Parental Rights*, 10 A.L.R. 4th 827 (1981).

Although there are a handful of states in which, by statute, the court must defer to the wishes of an older child when choosing between fit parents (*see* 10 A.L.R. 4th § 4), even if State A has such a statute it would not be applicable here, as the custody contest is between a fit parent and a nonparent.

Thus, although the wishes of Daughter are relevant in an action regarding her custody, a court may disregard those wishes and deny Grandparents' custody petition.

Point Three (35%)

Because the State A statute gives "no special weight" to a parent's determination of her child's best interests, under the Supreme Court's plurality opinion in *Troxel v. Granville*, the statute is unconstitutional.

In *Troxel v. Granville*, 530 U.S. 57 (2000), the Supreme Court addressed the constitutionality of a state statute under which "[a]ny person" could petition for visitation rights "at any time" and authorized a court to grant such visitation whenever it concluded that "visitation may serve the best interest of the child." A plurality of the Court found that the statute provided inadequate protection for a parent's constitutionally protected liberty interest in the care, custody, and control of her child. The statute at issue was, in the Court's view, "breathtakingly broad," and it required the court to give "no special weight at all to [a parent's] . . . determination of her daughter's best interests." 530 U.S. at 67, 69. Moreover, the court that awarded visitation pursuant to the statute used a decision-making framework that "gave no weight" to the parent's

having “assented to visitation” on a schedule different from that preferred by the grandparent petitioners and that “contravened the traditional presumption that a fit parent will act in the best interest of his or her child.” *Id.* at 69.

Under *Troxel*, the State A grandparent-custody statute is almost certainly unconstitutional. Like the statute struck down in *Troxel*, the State A statute does not require the court to give any special weight to a parent’s determination of her child’s best interest; in fact, it does not appear to require the court to give *any* weight to a parent’s determination of a child’s best interest. Moreover, the State A statute permits a much larger intrusion upon parental prerogatives than did the statute considered in *Troxel*; that statute permitted a court to grant a nonparent *visitation*, while the State A statute authorizes a court to award a nonparent *custody*.

Although the State A statute does restrict nonparent custody petitions to grandparents and additionally requires that the child have been abandoned or have a parent who has died, this should not alter the constitutional analysis. These facts are not relevant to the Supreme Court’s reasoning in *Troxel*. Moreover, *Troxel* itself involved a visitation petition brought by grandparents whose son had died.

SECURED TRANSACTIONS ANALYSIS

(Secured Transactions I.B.; II.E.; IV.A., B., C., F.)

ANALYSIS

Legal Problems

- (1) What are the relative rights of a creditor with a perfected security interest in a debtor's inventory and a buyer who bought an item of the inventory in ordinary course of business?
- (2) What are the relative rights of a creditor with a perfected security interest in a debtor's inventory and a lien creditor of the debtor with respect to an item of equipment that the debtor received in exchange for an item of inventory?
- (3) What are the relative rights of a creditor with a perfected security interest in a debtor's inventory, a lien creditor of the debtor, and a supplier who has sold items of inventory to the debtor on credit, retaining title to the items, but has not filed a financing statement?

DISCUSSION

Summary

Bank has a perfected security interest in the present and future inventory of Recycled. That security interest covers both the bicycles in the inventory of Recycled and the bicycle helmets bought from Manufacturer. Although, as a general rule, a security interest continues in collateral notwithstanding its sale by the debtor, Bank does not have a claim to Consumer's bicycle. As a buyer in ordinary course of business from Recycled, Consumer took the bicycle free of the security interest in it that Recycled gave to Bank.

Bank also has a perfected security interest in the used computer. Although the computer is not inventory, it was received in exchange for an item of inventory and constitutes proceeds of that inventory to which Bank's security interest extends. Bank's security interest in the computer is superior to Utility's judgment lien, which was created after Bank had obtained its perfected security interest in the computer.

Manufacturer has a security interest in the helmets it sold to Recycled, but its unperfected security interest is subordinate to the perfected security interest of Bank and to Utility's judgment lien.

Point One (34%)

Because Consumer was a buyer in ordinary course of business with respect to the bicycle, Consumer took the bicycle free of Bank's security interest.

While a security interest in collateral generally continues in that collateral even after the collateral has been sold (*see* UCC § 9-315), that principle is subject to important exceptions. In particular, a buyer in ordinary course of business "takes free of a security interest" created by its

seller “even if the security interest is perfected and the buyer knows of its existence.” UCC § 9-320(a).

Here, Recycled sold the bicycle to Consumer. Consumer took free of Bank’s security interest—which was created by Recycled, its seller—if Consumer was a “buyer in ordinary course of business.” A buyer in ordinary course of business is “a person that buys goods in good faith, without knowledge that the sale violates the rights of another person in the goods, and in the ordinary course from a person . . . in the business of selling goods of that kind.” UCC § 1-201(b)(9).

On these facts, Consumer is a buyer in ordinary course of business. First, Consumer bought the bicycle from Recycled, which is in the business of selling goods of the kind that Consumer bought—bicycles. Second, the sale occurred “in the ordinary course,” i.e., in the seller’s usual way. Third, Consumer acted honestly and in a manner consistent with reasonable commercial standards of fair dealing. Thus, Consumer acted in “good faith.” UCC § 1-201(b)(20). Finally, there are no facts to suggest that Consumer knew that the sale was in violation of Bank’s rights.

As a buyer in ordinary course of business, Consumer took the bicycle free of Bank’s security interest, and Bank’s security interest is extinguished.

Point Two (33%)

Although Bank’s security agreement does not cover the equipment of Recycled, the used computer, which is equipment, constitutes proceeds of the inventory of Recycled, and Bank’s security interest in the inventory extends to proceeds of the inventory. Because Bank’s interest was perfected before Utility became a lien creditor, Bank has a prior claim to the used computer.

The security agreement pursuant to which Bank obtained its perfected security interest covers only inventory. The used computer was not held by Recycled for sale or lease, so it is not inventory. UCC § 9-102(a)(48). Rather, it is equipment. UCC § 9-102(a)(33). Thus, it is not included in the description of collateral in the security agreement.

However, Recycled obtained the computer in exchange for a bicycle that was inventory (and, thus, collateral). Because the computer was “acquired upon the . . . exchange . . . of collateral,” the computer is “proceeds” of that collateral. UCC § 9-102(a)(64). A security interest in collateral extends to identifiable proceeds of that collateral. UCC § 9-315(a)(2). Thus, Bank has a security interest in the computer. In addition, the security interest in the computer as proceeds is perfected because the security interest in the original collateral (the bicycle) was perfected by the filing of a financing statement in the same office in which a financing statement would be filed in order to perfect a security interest in the computer. UCC §§ 9-315(c)–(d).

Because Bank has a perfected security interest in the used computer as proceeds, it has priority over Utility’s later judgment lien. UCC § 9-317(a)(2).

Point Three (33%)

Bank’s perfected security interest in the bicycle helmets is superior to Manufacturer’s unperfected security interest and to Utility’s later judgment lien. Manufacturer’s security interest is subordinate to Utility’s judgment lien.

While the contract with Manufacturer provides that Manufacturer retains title to the helmets until Recycled pays for them, the purported retention of “title” is limited in effect to retention of a “security interest.” See UCC § 1-201(b)(35) (§ 1-201(37) in states that have not enacted the Revised Article 1). Manufacturer’s security interest is not perfected because Manufacturer has

not filed a financing statement, and there is no other basis for it to claim perfection of its security interest. *See* UCC §§ 9-308, 9-310.

Bank has a security interest in the inventory of Recycled. Bank perfected that interest by filing a financing statement. *See* UCC § 9-310(a). Because the bicycle helmets are held for sale by Recycled, they are inventory and are subject to Bank's security interest. *See* UCC § 9-102(a)(48) (definition of inventory).

Bank's security interest has priority over Manufacturer's security interest because a perfected security interest has priority over an unperfected security interest. *See* UCC § 9-322(a)(2).

Because Bank has a perfected security interest in the bicycle helmets, it has priority over Utility's later judgment lien. UCC § 9-317(a)(2). However, Utility's judgment lien has priority over Manufacturer's security interest in the bicycle helmets because Manufacturer's interest is unperfected. *Id.*

[NOTE: An examinee might correctly note that Manufacturer's security interest is a "purchase-money security interest." That point is irrelevant to the answer, however. A *perfected* purchase-money security interest can, under proper circumstances, have priority over other security interests, but Manufacturer's security interest was not perfected because no financing statement was filed and no other criterion for perfection has been satisfied. Thus, the general rule of UCC § 9-322(a)(2)—a perfected security interest has priority over an unperfected security interest—determines the priority of the competing security interests in this case. An examinee might erroneously state that Manufacturer's purchase-money security interest is automatically perfected without the need for filing pursuant to UCC § 9-309(1). This is incorrect, because only a purchase-money security interest *in consumer goods* qualifies for this special rule, and the helmets are "inventory" rather than "consumer goods." *See* definitions in UCC §§ 9-102(a)(23) and 9-102(a)(48).]

TORTS ANALYSIS

(Torts II.A., B., D., E.1. & 2., F.)

ANALYSIS

Legal Problems

- (1)(a) Could a jury find that University had a duty of care to Susan and that its breach of that duty was the cause in fact and proximate cause of Susan's injuries?
- (1)(b) Could a jury find that Jim owed a duty of care to Susan and that his breach of that duty was the cause in fact and proximate cause of Susan's injuries?
- (1)(c) Could a jury find that Ann's Psychiatrist owed a duty of care to Susan and that Psychiatrist's breach of that duty was the cause in fact and proximate cause of Susan's injuries?
- (2) If any party is liable for Susan's injuries, may Susan also obtain damages for PTSD symptoms?

DISCUSSION

Summary

A jury could find that University is liable to Susan for failing to take reasonable precautions to protect Susan from foreseeable criminal activity resulting from unauthorized entrance into the dorm. University owed a duty of care to Susan, a resident of a dormitory controlled and maintained by University. University's failure to fix the broken lock or take other steps to prevent entry by an intruder violated that duty; it was also the cause in fact and proximate cause of Susan's physical injuries.

A jury could not find that Jim is liable to Susan unless Susan relied to her detriment on Jim's promise to obtain assistance or unless Jim increased the risk that Susan would suffer harm. Here, there is no evidence of reliance or increased risk as a result of Jim's failure to obtain assistance.

A jury could not find that Ann's Psychiatrist is liable to Susan. Although a therapist may be liable for failing to warn a patient's intended victim of credible threats of violence when that victim is reasonably identifiable, in virtually all jurisdictions, a therapist may not be found liable for failing to warn a victim who is a member of an indeterminate group.

If University is found liable to Susan, it will be responsible for damages related to Susan's PTSD injuries because a tort defendant takes his victim as he finds him.

Point One(a) (30%)

University owed a duty of care to Susan, a resident of a dormitory controlled and maintained by University, to take reasonable precautions to protect Susan from foreseeable criminal activity. University's failure to fix the broken lock or take other precautions against unauthorized entry

into Susan's dorm violated that duty. It was also the cause in fact and proximate cause of Susan's physical injuries.

A college does not stand in a *parens patriae* relationship with its students. *See Hegel v. Langsam*, Ohio Misc. 2d (Comp. Pl. 1971). However, although the common law imposed almost no duties on landlords to provide safe premises to tenants, modern courts have found that landlords, including landlords like University, have a duty to take reasonable precautions to protect tenants against foreseeable attacks. *See Kline v. 1500 Massachusetts Avenue Apartment Corp.*, 439 F.2d 477 (D.C. Cir. 1970). *See also* RESTATEMENT (SECOND) OF TORTS §§ 360, 361.

[NOTE: An examinee might also conclude that University owed a duty of care to Susan because she was an invitee. *See* DAN B. DOBBS, *THE LAW OF TORTS* § 235, at 605 (2000) (describing tenant in common areas of building as an example of an invitee encountering obvious dangers).]

Criminal activity of the sort that occurred here was foreseeable. Apartment buildings and college dormitories almost invariably have locked entrances to protect against intrusion by criminals. Indeed, recognizing this risk, University had taken steps to ensure that nonresidents could not enter the dormitory.

A jury could find that University's failure to repair the broken lock or to take other steps to secure the door through which Ann entered the dormitory represented a breach of its duty of care. The lock had broken four days before Ann's entry. Therefore, University employees had ample time to discover the break. Even if repairs were impossible within the relevant time period, University could have taken other steps to prevent the door from being opened from the outside. Such precautions were warranted given the foreseeability that unauthorized persons could enter the dormitory to engage in criminal acts. It is this risk that prompted University to issue key cards to the dormitory residents. *See Brauer v. New York Central & H.R.R. Co.*, 103 A. 166 (N.J. 1918) (finding railroad liable for theft resulting from failure to guard plaintiff's goods when theft foreseeable).

Because Ann's entrance into Susan's dorm was made possible by University's failure to secure the damaged door, a jury could find that University's failure to repair the lock was the cause in fact and proximate cause of Susan's physical injuries.

Point One(b) (25%)

There is no general duty to come to the aid of another. Jim assumed a duty to Susan only if Susan relied to her detriment on Jim's promise to obtain assistance or if Jim left Susan in a worse position. Here, the evidence does not show that Susan relied to her detriment or that Susan was in a worse position after Jim took charge.

Susan and Jim did not have a special relationship that created a duty to come to the aid of another. *See* DAN B. DOBBS, *THE LAW OF TORTS* §§ 314–319. However, when an actor “takes charge of another who is helpless adequately to aid or protect himself,” he is subject to liability to the other for bodily harm caused by

a) “the failure of the actor to exercise reasonable care to secure the safety of the other while within the actor's charge, or

b) the actor's discontinuing aid or protection, if by doing so he leaves the other in a worse position than when the actor took charge of him.”

RESTATEMENT (SECOND) OF TORTS § 324. *See also* RESTATEMENT OF TORTS § 323 (“One who undertakes, gratuitously or for consideration, to render services to another . . . [is liable] for

physical harm resulting from his failure to exercise reasonable care . . . if (a) his failure to exercise such care increases the risk of such harm; or (b) the harm is suffered because of the other's reliance upon the undertaking.”).

Here, Jim's failure to follow up his unsuccessful attempt to report Susan's injuries to the University security office with any other action was arguably negligent. Moreover, Jim's closing the library door made it less likely that anyone else would come to Susan's aid. However, there is no evidence that Susan actually suffered any harm as a result of Jim's conduct. Susan obtained medical assistance herself only half an hour after Jim left her, and there is no evidence that her minor physical injuries or PTSD symptoms were aggravated by delayed treatment.

Thus, because there is no evidence that Jim caused or exacerbated Susan's injuries, Susan cannot recover damages from Jim.

Point One(c) (30%)

A psychotherapist has a duty to warn a reasonably identifiable individual against whom her patient has made credible threats but has no duty to warn any individual who is a member of an indeterminate class against whom the patient has made threats.

In *Tarasoff v. Regents of University of California*, 551 P.2d 334 (Cal. 1976), the California Supreme Court held that the special relationship between a psychotherapist and patient justified the imposition of a duty to warn “persons threatened by the patient.” Both the holding and reasoning of the *Tarasoff* court have been widely adopted. Today, in most states, a psychotherapist who fails to warn an intended victim against whom her patient has made credible threats of physical violence may be found liable for that victim's injuries. Many courts have also followed *Tarasoff* in permitting recovery either (1) when the therapist believed that the patient posed a real risk to the specified victim or (2) when the therapist negligently failed to take the threat seriously.

However, California courts have restricted the duty imposed on psychotherapists in *Tarasoff* to “potential victims . . . specifically known and designated” by the dangerous patient. *Thompson v. County of Alameda*, 614 P.2d 728, 736 (Cal. 1980). For example, in *Thompson*, the court refused to extend *Tarasoff* to a defendant that had released a youth who had a long history of violence and who had “indicated that he would, if released, take the life of a young child residing in the neighborhood.” *Id.* at 730. The court held that, in contrast to *Tarasoff*, “the warnings sought by plaintiffs would of necessity have to be made to a broad segment of the population and would be only general in nature . . . [S]uch generalized warnings . . . would do little as a practical matter to stimulate increased safety measures . . . [and] would be difficult to give.” *Id.* at 736.

Courts and legislatures in other states have also generally confined the *Tarasoff* duty to intended victims who are readily ascertainable and subject to a serious threat of physical violence. *See, e.g.*, KY. REV. STATS. ANN. § 202A.400(1) (requiring “actual threat of physical violence against a clearly identifiable victim”); NEB. REV. STAT. § 38-2137(1) (requiring “serious threat of physical violence” against a “reasonably identifiable victim”); N.H. REV. STAT. § 329:31 (requiring “serious threat of physical violence against a clearly identified or reasonably identifiable victim” or “serious threat of substantial damage to real property”); N.J. STAT. ANN. § 2A:62A-16 (requiring “threat of imminent, serious physical violence against a readily identifiable individual”). Cases in which courts have imposed a broader duty have typically involved defendants who directly facilitated the patient's attack. *See, e.g., Lundgren v. Fultz*, 354

N.W.2d 25 (Minn. 1984) (imposing duty to victims where psychiatrist helped patient to obtain guns confiscated by police).

Under *Tarasoff* and the case law of most states, the fact that Ann's Psychiatrist did not find Ann's threats credible would not be a defense if the evidence showed that a reasonable therapist would have taken Ann's threats seriously. Here, Ann's Psychiatrist had a therapeutic relationship with Ann because Ann saw Psychiatrist weekly for several months. That relationship imposed on Psychiatrist a duty to warn Ann's ascertainable intended victims if Ann made serious threats of physical violence against them. Psychiatrist's decision not to warn anyone was likely reasonable based on Ann's lack of any history of violent behavior and the ambiguity of her vague threat to ensure that cheaters "get what is coming to them," which is not a clear threat of serious injury. More importantly, Ann's threats were general; she did not specify any ascertainable victims. Thus, in the vast majority of states, a jury could not find that Psychiatrist is liable to Susan.

Point Two (15%)

University is responsible for damages related to Susan's injuries because a tort defendant takes his victim as he finds him.

A tort defendant takes his victim as he finds him. The victim with an "eggshell skull" who suffers injuries greatly in excess of those that a normal victim would suffer is entitled to recover for the full extent of his injuries. See RICHARD A. EPSTEIN AND CATHERINE M. SHAKEY, CASES AND MATERIALS ON TORTS 471–74 (10th ed. 2012).

Here, although Susan sustained only minor physical injuries from Ann's attack, Susan suffered a preexisting condition, PTSD. Susan's PTSD symptoms that emerged after Ann's attack were attributable to her preexisting PTSD. Most of the "eggshell skull" cases involve unusual physical consequences of an underlying precondition. However, there is no reason why, with proper proof, the plaintiff should not also recover damages for mental symptoms such as anxiety or insomnia. See *Steinhauser v. Hertz Corp.*, 421 F.2d 1169 (2d Cir. 1970) (permitting recovery for plaintiff's post-accident schizophrenia when evidence showed that prior concussion created predisposition that was exacerbated by accident for which defendant was liable). Courts have sometimes been reluctant to award tort plaintiffs damages for mental distress unaccompanied by any physical injuries (see *Williamson v. Bennett*, 112 S.E.2d 48 (N.C. 1960) (disallowing mental-disorder damages when plaintiff suffered no physical harm in accident caused by defendant)). However, here Susan did suffer physical injuries during the attack, and the attack also triggered physical symptoms such as nausea, muscle tension, and sweating.

Thus, if Susan recovers damages from University for her physical injuries, she should also be able to recover damages for her PTSD symptoms.

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure IV.A.; VI.B.)

ANALYSIS

Legal Problems

- (1) Do the Federal Rules of Civil Procedure permit a defendant to amend its answer after discovery has closed in order to add an affirmative defense that has been suggested by facts revealed in discovery when that defense could have been raised at the outset of the action?
- (2) Should summary judgment be granted when facts revealed in discovery support a defendant's affirmative defense but when there are other facts at issue that would permit a jury to reject the defense?

DISCUSSION

Summary

Under Federal Rule of Civil Procedure 15(a)(2), leave to amend should be freely given when justice requires. Here, the merits of the case are advanced by allowing the amendment adding the affirmative defense, and there are no facts to suggest that Plaintiff would be prejudiced in the preparation and presentation of her case by allowing the amendment. Although Plaintiff will be harmed if Defendant is allowed to prove a valid defense, the harm of being subject to a valid defense is not the kind of "prejudice" that would warrant denying an amendment. On the applicable "abuse of discretion" standard, it is unlikely that the appellate court would reverse the trial court's decision on this issue.

The trial court erred in granting Defendant's motion for summary judgment. Under Rule 56(c), the standard for granting such a motion is that there is no genuine issue of material fact raised. Here, Plaintiff's deposition testimony suggests that there are genuine issues of material fact concerning whether Defendant exercised reasonable care to prevent and correct harassment and whether Plaintiff's failure to complain about the harassment was reasonable.

Point One (50%)

The trial court properly granted Defendant leave to amend its answer to the complaint, given that justice favors allowing Defendant to raise a potentially valid affirmative defense and no facts suggest that Plaintiff was unfairly prejudiced by the amendment.

A defendant has the burden of pleading all affirmative defenses. Federal Rule of Civil Procedure 8(c) is very clear when it states that a party defending a claim "must affirmatively state any avoidance or affirmative defense" Defendant had failed to raise a potentially valid affirmative defense in its answer and later sought to amend.

Under Rule 15(a)(2), a district court "should freely give leave [to amend] when justice so requires." The Supreme Court has defined this standard "negatively" by indicating that

amendments should be allowed unless they result in a form of injustice. *See Foman v. Davis*, 371 U.S. 178 (1962). The categories of injustice the Court describes are undue delay, bad faith or dilatory motive, repeated failure to cure defects by amendment, undue prejudice to the party opposing the amendment, or futility of the amendment. Here, the only possible ground that Plaintiff might use to resist the amendment is “undue prejudice.”

Defendant has a strong argument that it would be unjust to deny the amendment because doing so would deny Defendant an opportunity to have the case decided on its legal merits. Indeed, having cases decided on their merits is one of the key goals of the Federal Rules of Civil Procedure, *see, e.g.*, FED. R. CIV. P. 1 (seeking to achieve a “just, speedy, and inexpensive” determination) and one reason that the Rules direct courts to “freely give leave” to amend. Moreover, allowing a potentially valid defense does not cause “undue prejudice” to Plaintiff. Plaintiff’s legal claim is only as good as its ability to overcome defenses, and it is not unjust to require that she respond to those defenses.

Plaintiff might argue that she is prejudiced by injecting the defense after the close of discovery. But no facts suggest prejudice, and it is difficult to know what the prejudice might be. The defense is supported by testimony of Plaintiff and is based upon matters known to her all along. Moreover, Plaintiff’s counsel knew or should have known about this well-established affirmative defense. Finally, if Plaintiff requires more time for discovery, that is a matter that the court could address by granting more time (if the issue were raised) and is not itself a basis for denying leave to amend. In short, justice seems better served by allowing the amendment to ensure that the case is decided on its merits and not on the basis of Defendant’s failure to plead an affirmative defense in its original answer.

Point Two (50%)

The trial court erred in granting summary judgment. Plaintiff’s deposition answers, which were the basis of Defendant’s summary judgment motion, raise genuine issues of material fact sufficient to preclude entry of judgment as a matter of law.

Federal Rule of Civil Procedure 56(a) allows a summary judgment motion to be granted only if “there is no genuine issue as to any material fact and the movant is entitled to judgment as a matter of law [JML].” *See Celotex Corp. v. Catrett*, 477 U.S. 317, 322 (1986); *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 247–48 (1986). An issue of fact is “genuine” if, based on the evidence presented by the nonmoving party, a reasonable jury could return a verdict for that party. A fact is “material” if it is relevant to an element of a claim or defense and its existence would affect the outcome of the case under the governing law. *Anderson*, 477 U.S. at 248. In determining whether there is a genuine dispute as to material fact, the court should consider the “depositions, documents, electronically stored information, affidavits or declarations, stipulations (including those made for purposes of the motion only), admissions, interrogatory answers, or other materials.” FED. R. CIV. P. 56(c)(1)(A).

Here, Defendant has an affirmative defense to a claim of sex discrimination if Defendant can prove that no adverse job action was taken against Plaintiff, that Defendant exercised reasonable care to prevent and correct harassing behavior, and that the employee unreasonably failed to take advantage of protective or corrective opportunities. When, as here, a party moves for summary judgment on an issue on which it has the burden of persuasion at trial, it “must support its motion with credible evidence . . . that would entitle it to a directed verdict if not controverted at trial.” *Celotex Corp.*, 477 U.S. at 331 (Brennan, J., dissenting). Defendant sought to establish facts supporting the elements of its affirmative defense by relying on Plaintiff’s

deposition testimony. The issue is whether that testimony establishes that there is no “genuine issue as to any material fact” relating to Defendant’s affirmative defense and that, accordingly, Defendant should be granted judgment as a matter of law.

Plaintiff admitted that she suffered no adverse job action, that Defendant had policies against sexual harassment, and that procedures were available to her to complain about harassment. However, by itself this is not enough to warrant summary judgment, because Plaintiff’s testimony also raised genuine issues with respect to two facts that are essential to Defendant’s affirmative defense (as described in the facts of this question): whether Defendant exercised reasonable care to prevent and correct any sexually harassing behavior and whether Plaintiff unreasonably failed to take advantage of corrective opportunities provided by Defendant.

Although part of Plaintiff’s deposition testimony suggests that Defendant did make reasonable efforts to address harassment by providing procedures that Plaintiff did not use, Plaintiff also testified that Defendant made no independent effort to enforce its policies (relying on Plaintiff to report or on supervisors to monitor the situation). In considering this evidence, the court must draw those inferences “most favorable to the party opposing the motion” for summary judgment. *United States v. Diebold, Inc.*, 369 U.S. 654, 655 (1962) (per curiam). A jury could reasonably find that this was not reasonable enforcement action for a workplace that had previously not had any women. Furthermore, Plaintiff testified that she was afraid to report the incidents for fear of retaliation. A jury might find her fear of retaliation to be a reasonable basis for her failure to use available procedures, given that the supervisor was himself one of the alleged harassers.

In short, it appears that there are genuine issues about the reasonableness of the employer’s actions to prevent harassment and the reasonableness of Plaintiff’s failure to report the behavior. Without a resolution of those factual issues, it is not clear whether Defendant’s affirmative defense is valid, and summary judgment should not have been granted.

CORPORATIONS AND LIMITED LIABILITY COMPANIES ANALYSIS

(Corporations and Limited Liability Companies V.D.; VI.B.; IX.)

ANALYSIS

Legal Problems

- (1) Does Acme have fiduciary duties as majority voting member that would require it to have A-B LLC bring the concrete claim against Acme?
- (2) Can Brown bring the concrete claim against Acme?
- (3) Does Brown have sufficient grounds to seek the dissolution of A-B LLC?
- (4) Should A-B LLC's losses be borne by Acme and Brown and allocated between them in the same way as its profits?

DISCUSSION

Summary

Acme's lawyer is wrong in almost every respect. As the member of A-B LLC with management control, Acme has breached its fiduciary duties of loyalty and care by refusing to have the LLC bring the concrete claim. Brown can bring the concrete claim on behalf of the LLC against Acme as a derivative action, though not as a direct action against Acme. Brown may have sufficient grounds to seek judicial dissolution of A-B LLC, because Acme's failure to have the LLC bring the concrete claim likely constitutes oppression. Finally, under the rule of limited liability, the members and managers of an LLC generally are not liable for LLC losses. Thus, the A-B LLC losses arising from the judgment against the LLC are not borne by Acme or Brown, nor are they allocated between them.

[NOTE: The resolution of the issues in this problem would generally be the same in all jurisdictions. The following MEE jurisdictions have adopted the Uniform Limited Liability Company Act (ULLCA) (2006): the District of Columbia, Idaho, Iowa, Nebraska, and Utah.]

Point One (25%)

Acme owes A-B LLC and Brown fiduciary duties of loyalty and care. Refusing to have the LLC bring the concrete claim violates Acme's fiduciary duties because the refusal is self-interested and not in the LLC's best interests.

A-B LLC is a member-managed limited liability company (LLC). The operating agreement varies the statutory default to give Acme a 55% voting interest, which is permissible under ULLCA § 110. In exercising its management powers, Acme has fiduciary duties under ULLCA § 409 as a member in a member-managed LLC to both A-B LLC and Brown. These fiduciary duties include both a duty of loyalty and a duty of care.

The ULLCA does not specifically address whether the duty of loyalty precludes a majority member from refusing to have the LLC bring a surefire claim against the member. But

the ULLCA provides that members have a duty of loyalty to “account to the company and to hold as trustee for [the company] any . . . benefit derived by the member . . . in the conduct . . . of the company’s activities.” ULLCA § 409(a)(1)(A). The benefit that Acme derives by virtue of A-B LLC not bringing a claim against Acme is an improper benefit, and thus keeping the benefit is a breach of Acme’s duty of loyalty.

The ULLCA provides that, subject to the business-judgment rule, the duty of care requires the member to “act with the care that a person in a like position would reasonably exercise under similar circumstances and in a manner the member reasonably believes to be in the best interests of the company.” ULLCA § 409(c). Because refusing to have the LLC bring the concrete claim against Acme is self-interested, the business-judgment rule is inapplicable. Under the facts given, Acme cannot reasonably believe that it is in A-B LLC’s best interest to not bring the surefire concrete claim against Acme.

Point Two (25%)

The claim based on the defective concrete sold by Acme to A-B LLC is a claim of the LLC as an entity, not of the LLC’s members. Thus, Brown can maintain a derivative action on behalf of A-B LLC, in which the LLC brings its concrete claim against Acme. But Brown cannot maintain a claim on Brown’s own behalf directly against Acme.

Brown, as a member of the LLC, may maintain a derivative action under ULLCA § 902 to enforce A-B LLC’s concrete claim against Acme. A derivative action in a member-managed LLC may be brought only if (1) a demand is made on the other member to bring an action and the member fails to do so, or (2) such demand would be futile. Here, Brown has made a demand on Acme and Acme has failed to have the LLC bring an action against Acme. Therefore, Brown may bring a derivative action against Acme.

Under ULLCA § 104, an LLC is an entity distinct from its members. The claim based on the faulty concrete is a claim of A-B LLC as an entity, not a claim of its constituent members. For this reason, Brown cannot advance the concrete claim on its own behalf. This is consistent with the direct action provision, ULLCA § 901, under which Brown would have to “plead and prove an actual or threatened injury that is not solely the result of an injury suffered or threatened to be suffered by the limited liability company.”

Point Three (25%)

Based on Acme’s unjustified refusal to advance the concrete claim, Brown may have grounds to seek judicial dissolution of A-B LLC.

Brown could apply to the court for an order of involuntary dissolution under ULLCA § 701(a)(5), alleging that Acme, as the member in control of the company, is acting in a manner that is oppressive and directly harmful to Brown.

The comment to ULLCA § 701 states that courts have begun to apply close corporation “oppression” doctrine to LLCs. Courts in the close corporation context have found oppression when actions by controlling shareholders violate the reasonable expectations of non-controlling shareholders. Thus, the question becomes whether Acme’s refusal to have the LLC bring a surefire claim against Acme violates Brown’s reasonable expectations. At a minimum, Brown had reasonable expectations that Acme would not violate its fiduciary duties (*see* Point One). In addition, Acme’s refusal to have the LLC bring the concrete claim violates Brown’s reasonable expectation that Acme would manage the LLC in the best interests of the LLC. Finally, Acme’s

refusal directly harms Brown, because unless Acme makes good on the LLC losses, Brown will suffer reputational harm for being involved in a construction project where the customers lost all their money.

Point Four (25%)

Under the rule of limited liability, LLC members and managers are not liable beyond their investment in the LLC for losses incurred by the LLC. There are no facts to support piercing the LLC veil, nor did the homeowners bring direct claims against Acme or Brown.

Although allocation of losses among partners in a partnership follows the allocation of profits, no allocation rule applies in an LLC because of limited liability. Under the rule of limited liability, if the LLC becomes indebted, obligated, or otherwise liable to an outside party, no member or manager becomes liable on that debt, obligation, or liability solely by reason of acting as a member or manager. *See* ULLCA § 304(a)(2). Thus, if A-B LLC lacks the assets to satisfy the judgment awarded to the homeowners, there can be no liability of either Acme or Brown on this judgment—unless a court pierces the LLC veil or finds that one of the members had acted to create direct liability.

Under the facts, there is no indication of fraud or other inequitable conduct in the formation or operation of A-B LLC that would support a piercing claim against Acme or Brown. Although state courts have recognized piercing in the LLC context, there must exist some circumstances that would justify piercing on equitable grounds, such as undercapitalization of the business, failure to follow formalities, commingling of assets, confusion of business affairs, or deception of creditors. None of these factors exists here.

At most, the homeowners may have had a direct claim against Acme for supplying defective concrete, but the homeowners did not bring this claim against Acme. Nor is there any indication that Brown was responsible for losses caused by the defective concrete. Therefore, because no claims were brought against either Acme or Brown, there are no losses for which either of them is liable directly, and there is no basis for allocating losses between them. If A-B LLC lacks the assets to satisfy the judgment awarded against it, any shortfall will be a loss borne by the homeowners.

DECEDENTS' ESTATES/CONFLICT OF LAWS ANALYSIS

(Decedents' Estates I.B.1. & 2.; II.A.1., 2. & 4. / Conflict of Laws III.C.3.)

ANALYSIS

Legal Problems

- (1) Which state's laws govern the disposition of Zach's bank account, Zach's house, and Zach's farm?
- (2) Is Zach's will valid in (a) State A and (b) State B?
- (3) If Zach's will is invalid, which of Zach's children are entitled to a share of his assets in State A and State B?

DISCUSSION

Summary

The postmortem distribution of personal property is governed by the law of the state in which the decedent was domiciled at the time of his death. The postmortem distribution of real property is governed by the law of the situs. Thus, State A law controls the disposition of Zach's bank account and Zach's house, and State B law controls the disposition of Zach's farm. In State A, Zach's will is invalid because Zach did not sign it at the end. In State B, Zach's will is invalid because it was not signed by two witnesses. Thus, Zach died intestate in both states.

Under the laws of both State A and State B, Alex is entitled to a share of Zach's estate. In State A, Brian is entitled to a share if the word "children" in the State A statute is construed to include adopted children.

Although the State A intestate-distribution statute excludes nonmarital children, Carrie is nonetheless entitled to a share because intestate-distribution laws that exclude nonmarital children whose paternity has been established are unconstitutional.

Under State B law, Alex and Carrie are clearly entitled to shares of Zach's assets. Brian also is entitled to a share because the State B statute specifically includes adopted children.

Point One (30%)

Because the disposition of real property is governed by the law of the situs, State A law will govern the disposition of Zach's house and State B law will govern the disposition of Zach's farm. State A law also governs the distribution of the personal property, the bank account, because State A was the decedent's domicile at the time of his death.

The law of the state where the real property is located governs the disposition of real property. *See* RESTATEMENT (SECOND) OF CONFLICT OF LAWS § 223(1). This approach reflects the situs state's interest in the regularity of titles and the interests of third parties who rely on local land records. *See Baker v. General Motors Corp.*, 522 U.S. 222 (1998) (dictum); EUGENE F. SCOLES ET AL., CONFLICT OF LAWS (4th ed. 2004). Therefore the law of State A controls the disposition of the house and the law of State B controls the disposition of the farm. Each state's statutes must be consulted to determine the validity of Zach's will and, if the will is invalid, the rules governing intestate succession. *See* RESTATEMENT (SECOND) OF CONFLICT OF LAWS § 236.

The law of the state in which the decedent was domiciled at his death governs the disposition of personal property. Because Zach was a domiciliary of State A, State A law governs the disposition of his bank account even though the account was maintained at a bank in State B.

[NOTE: Comments to the Second Restatement suggest that when the situs state (State B) has a statute recognizing the validity of a will properly executed in the state where the testator was domiciled, it may determine the validity of a landowner's will under the law in his state of domicile (State A). Most states have such will-validation statutes, but the facts provide that State B has no such law and instead expressly requires nonresidents to comply with its will-execution requirements. The question is designed, in part, to test the examinee's ability to read and apply a specific statute. Zach's will is invalid under State A law in any event. *See Point Two.*]

Point Two (30%)

Zach's will is invalid under the law of State A because Zach did not sign it at the end. The will also is invalid under the law of State B because it was not signed by two witnesses. Therefore, Zach died intestate under the laws of both states.

Although State A permits holographic (i.e., handwritten and unwitnessed) wills, State A law expressly requires the testator to have "signed" the holograph at the end. Zach's will is shown in its entirety in the facts; Zach did not sign it at the end. Therefore, the will is invalid under the laws of State A and Zach's bank account and his house in State A pass in accordance with State A's laws of intestate succession. *See Point One.*

State B validates signed holographic wills only if they have been signed by two witnesses, and Zach's will was not. Therefore Zach's farm passes in accordance with State B's laws of intestate succession.

Therefore, in both State A and State B, University, the beneficiary under the invalid will, takes nothing.

Point Three(a) (5%)

Alex is entitled to share in the house, the farm, and the bank account under the applicable laws of each state, as Alex is a biological child of Zach and was born in wedlock.

The intestacy laws of both State A and State B provide that the property of an intestate decedent passes to his surviving children. There is no possible argument, under either state's law, that a marital child like Alex would be excluded from the class of surviving children who take.

Point Three(b) (15%)

Brian takes a share of the house and the bank account under State A law if "children" includes adopted children; Brian takes a share of the farm under State B law because adopted children are treated the same as biological children.

Under State A law, an intestate's property passes to his "surviving children," excluding nonmarital children. The statute is silent on the status of adopted children.

At common law, only blood relations could inherit from an intestate decedent. *See WILLIAM M. MCGOVERN, JR. & SHELDON F. KURTZ, WILLS, TRUSTS AND ESTATES* 100 (3d ed. 2001). Although all states today grant adopted children inheritance rights in at least some circumstances, there is typically an explicit statutory command that achieves this result. *See, e.g., UNIF. PROBATE CODE* § 2-114. State A has no statutory provision expressly altering the common

law. In the absence of such a statute, a court might conclude that had the legislature intended to give adopted children the same rights as biological children, it would have said so; alternatively, it might conclude, based on general nondiscrimination goals, that the legislature must have intended to give adopted children the same rights as biological children. *See* THOMAS E. ATKINSON, *WILLS* 87 (2d ed. 1953). There are cases going both ways on this issue. *Id.*

In State B, Brian clearly inherits because the statute says so.

[NOTE: The examinee's conclusion on this point is less important than his or her demonstrated ability to recognize the statutory ambiguity and formulate arguments in support of a position.]

Point Three(c) (20%)

Because State A's law disallowing inheritance by all nonmarital children does not meet constitutional standards, Carrie is entitled to take as a child of Zach.

Under the common law, a nonmarital child could not inherit from either parent. Today, all states grant nonmarital children the right to inherit from their mothers and to inherit from their fathers when at least one statutorily defined method of establishing paternity has been satisfied. *See* MCGOVERN & KURTZ, *supra*, at 93–94. The Supreme Court has held that a statute disallowing inheritance by a nonmarital child from her father when the father's paternity has been adjudicated during his lifetime is unconstitutional. *See Trimble v. Gordon*, 430 U.S. 762 (1977). *See also Reed v. Campbell*, 476 U.S. 852 (1986). Because Zach's paternity of Carrie was adjudicated during his lifetime, Carrie would be entitled to a share of Zach's estate despite the language of the State A statute. Carrie also takes under the laws of State B because she is Zach's biological child.

February 2013
MEE Questions
and Analyses

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*Used as one of the six questions on the February 2013 Uniform Bar Examination in Alabama, Arizona, Colorado, Idaho, Missouri, Nebraska, North Dakota, and Utah.

Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the February 2013 MEE. Each test includes nine 30-minute questions; user jurisdictions may elect which of the nine questions they wish to use. (Jurisdictions that administer the Uniform Bar Examination [UBE] use a common set of six MEE questions as part of their bar examinations.) In the actual test, the questions are simply numbered rather than being identified by area of law. The instructions for the test appear on page iii. For more information, see the *MEE Information Booklet*, available on the NCBE website at www.ncbex.org.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, followed by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Federal Civil Procedure question on the February 2013 MEE tested the following area from the Federal Civil Procedure outline: VI.E., Verdicts and judgments—Effect; claim and issue preclusion. Subject matter outlines are included in the *MEE Information Booklet*.

Description of the MEE

The MEE consists of nine 30-minute essay questions, any of which a jurisdiction may select to include as part of its bar examination. (UBE jurisdictions use a common set of six MEE questions as part of their bar examinations.) It is administered by participating jurisdictions on the Tuesday before the last Wednesday in February and July of each year. The areas of law that may be covered by the questions on any MEE are Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Conflict of Laws, Constitutional Law, Contracts, Criminal Law and Procedure, Evidence, Family Law, Federal Civil Procedure, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Uniform Commercial Code (Negotiable Instruments and Bank Deposits and Collections; Secured Transactions). Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Answer all questions according to generally accepted fundamental legal principles unless your jurisdiction has instructed you to answer according to local case or statutory law. (UBE instructions: Answer all questions according to generally accepted fundamental legal principles rather than local case or statutory law.)

February 2013 MEE

► *QUESTIONS*

Real Property

Contracts

Constitutional Law

Secured Transactions

Federal Civil Procedure

Agency

Evidence

Trusts and Future Interests

Negotiable Instruments

REAL PROPERTY QUESTION

In 2008, a landlord and a tenant entered into a 10-year written lease, commencing September 1, 2008, for the exclusive use of a commercial building at a monthly rent of \$2,500. The lease contained a covenant of quiet enjoyment but no other covenants or promises on the part of the landlord.

When the landlord and tenant negotiated the lease, the tenant asked the landlord if the building had an air-conditioning system. The landlord answered, "Yes, it does." The tenant responded, "Great! I will be using the building to manufacture a product that will be irreparably damaged if the temperature during manufacture exceeds 81 degrees for more than six consecutive hours."

On April 15, 2012, the building's air-conditioning system malfunctioned, causing the building temperature to rise above 81 degrees for three hours. The tenant immediately telephoned the landlord about this malfunction. The tenant left a message in which he explained what had happened and asked the landlord, "What are you going to do about it?" The landlord did not respond to the tenant's message.

On May 15, 2012, the air-conditioning system again malfunctioned. This time, the malfunction caused the building temperature to rise above 81 degrees for six hours. The tenant telephoned the landlord and left a message describing the malfunction. As before, the landlord did not respond.

On August 24, 2012, the air-conditioning system malfunctioned again, causing the temperature to rise above 81 degrees for 10 hours. Again, the tenant promptly telephoned the landlord. The landlord answered the phone, and the tenant begged her to fix the system. The landlord refused. The tenant then attempted to fix the system himself, but he failed. As a result of the air-conditioning malfunction, products worth \$150,000 were destroyed.

The next day, the tenant wrote the following letter to the landlord:

I've had enough. I told you about the air-conditioning problem twice before yesterday's disaster, and you failed to correct it. I will vacate the building by the end of the month and will bring you the keys when I leave.

The tenant vacated the building on August 31, 2012, and returned the keys to the landlord that day. At that time, there were six years remaining on the lease.

On September 1, 2012, the landlord returned the keys to the tenant with a note that said, "I repeat, the air-conditioning is not my problem. You have leased the building, and you should fix it." The tenant promptly sent the keys back to the landlord with a letter that said, "I have terminated the lease, and I will not be returning to the building or making further rent payments." After receiving the keys and letter, the landlord put the keys into her desk. To date, she has neither responded to the tenant's letter nor taken steps to lease the building to another tenant.

On November 1, 2012, two months after the tenant vacated the property, the landlord sued the tenant, claiming that she is entitled to the remaining unpaid rent (\$180,000) from September 1 for the balance of the lease term (reduced to present value) or, if not that, then damages for the tenant's wrongful termination.

Is the landlord correct? Explain.

CONTRACTS QUESTION

On January 2, a boat builder and a sailor entered into a contract pursuant to which the builder was to sell to the sailor a boat to be specially manufactured for the sailor by the builder. The contract price was \$100,000. The written contract, signed by both parties, stated that the builder would tender the boat to the sailor on December 15, at which time payment in full would be due.

On October 15, the builder's workers went on strike and there were no available replacements.

On October 31, the builder's workers were still on strike, and no work was being done on the boat. The sailor read a news report about the strike and immediately sent a letter to the builder stating, "I am very concerned that my boat will not be completed by December 15. I insist that you provide me with assurance that you will perform in accordance with the contract." The builder received the letter on the next day, November 1.

On November 25, the builder responded to the letter, stating, "I'm sorry about the strike, but it is really out of my hands. I hope we settle it soon so that we can get back to work."

Nothing further happened until December 3, when the builder called the sailor and said, "My workers are back, and I have two crews working overtime to finish your boat. Your boat is task one. Don't worry; we'll deliver your boat by December 15th." The sailor immediately replied, "I don't trust you. As far as I'm concerned, our contract is over. I am going to buy my boat from a shipyard." Two days later, the sailor entered into a contract with a competing manufacturer to buy a boat similar to the boat that was the subject of the contract with the builder.

The builder finished the boat on time and tendered it to the sailor on December 15. The sailor reminded the builder about the December 3 conversation in which the sailor had announced that "our contract is over," and refused to take the boat and pay for it.

The builder has sued the sailor for breach of contract.

1. What was the legal effect of the sailor's October 31 letter to the builder? Explain.
2. What was the legal effect of the builder's November 25 response to the sailor's October 31 letter? Explain.
3. What was the legal effect of the sailor's refusal to take and pay for the boat on December 15? Explain.

CONSTITUTIONAL LAW QUESTION

AutoCo is a privately owned corporation that manufactures automobiles. Ten years ago, AutoCo purchased a five-square-mile parcel of unincorporated land in a remote region of the state and built a large automobile assembly plant on the land. To attract workers to the remote location of the plant, AutoCo built apartment buildings and houses on the land and leased them to its employees. AutoCo owns and operates a commercial district with shops and streets open to the general public. AutoCo named the area Oakwood and provides security, fire protection, and sanitation services for Oakwood's residents. AutoCo also built, operates, and fully funds the only school in the region, which it makes available free of charge to the children of its employees.

A family recently moved to Oakwood. The father and mother work in AutoCo's plant, rent an apartment from AutoCo, and have enrolled their 10-year-old son in Oakwood's school. Every morning, the students are required to recite the Pledge of Allegiance while standing and saluting an American flag. With the approval of his parents, the son has politely but insistently refused to recite the Pledge and salute the flag at the school on the grounds that doing so violates his own political beliefs and the political beliefs of his family. As a result of his refusal to say the Pledge, the son has been expelled from the school.

To protest the school's actions, the father walked into the commercial district of Oakwood. While standing on a street corner, he handed out leaflets that contained a short essay critical of the school's Pledge of Allegiance policy. Some of the passersby who took the leaflets dropped them to the ground. An AutoCo security guard saw the litter, told the father that Oakwood's anti-litter rule prohibits leaflet distribution that results in littering, and directed him to cease distribution of the leaflets and leave the commercial district. When the father did not leave and continued to distribute the leaflets, the security guard called the state police, which sent officers who arrested the father for trespass.

1. Did the son's expulsion from the school violate the First Amendment as applied through the Fourteenth Amendment? Explain.
2. Did the father's arrest violate the First Amendment as applied through the Fourteenth Amendment? Explain.

SECURED TRANSACTIONS QUESTION

On June 1, a bicycle retailer sold two bicycles to a man for a total purchase price of \$1,500. The man made a \$200 down payment and agreed to pay the balance in one year. The man also signed a security agreement that identified the bicycles as collateral for the unpaid purchase price and provided that the man “shall not sell or dispose of the collateral until the balance owed is paid in full.” The retailer never filed a financing statement reflecting this security interest.

The man had bought the bicycles for him and his girlfriend to use on vacation. However, shortly after he bought the bicycles, the man and his girlfriend broke up. The man has never used the bicycles.

On August 1, the man sold one of the bicycles at a garage sale to a buyer who paid the man \$400 for the bicycle. The buyer bought the bicycle to ride for weekend recreation.

On October 1, the man gave the other bicycle to his friend as a birthday present. The friend began using the bicycle for morning exercise.

Neither the buyer nor the friend had any knowledge of the man’s dealings with the retailer.

1. Does the buyer own the bicycle free of the retailer’s security interest? Explain.
2. Does the friend own the bicycle free of the retailer’s security interest? Explain.

FEDERAL CIVIL PROCEDURE QUESTION

Mother and Son, who are both adults, are citizens and residents of State A. Mother owned an expensive luxury car valued in excess of \$100,000. Son borrowed Mother's car to drive to a store in State A. As Son approached a traffic light that had just turned yellow, he carefully braked and brought the car to a complete stop. Driver, who was following immediately behind him, failed to stop and rear-ended Mother's car, which was damaged beyond repair. Son was seriously injured. Driver is a citizen of State B.

Son sued Driver in the United States District Court for the District of State A, alleging that she was negligent in the operation of her vehicle. Son sought damages in excess of \$75,000 for his personal injuries, exclusive of costs and interest. In her answer, Driver alleged that Son was contributorily negligent in the operation of Mother's car. She further alleged that the brake lights on Mother's car were burned out and that Mother's negligent failure to properly maintain the car was a contributing cause of the accident.

Following a trial on the merits in Son's case against Driver, the jury answered the following special interrogatories:

Do you find that Driver was negligent in the operation of her vehicle? Yes.

Do you find that Son was negligent in the operation of Mother's car? No.

Do you find that Mother negligently failed to ensure that the brake lights on her car were in proper working order? Yes.

The judge then entered a judgment in favor of Son against Driver. Driver did not appeal.

Two months later, Mother sued Driver in the United States District Court for the District of State A, alleging that Driver's negligence in the operation of her vehicle destroyed Mother's luxury car. Mother sought damages in excess of \$75,000, exclusive of costs and interest.

State A follows the same preclusion principles that federal courts follow in federal-question cases.

1. Is Mother's claim against Driver barred by the judgment in *Son v. Driver*? Explain.
2. Does the jury's conclusion in *Son v. Driver* that Mother had negligently failed to maintain the brake lights on her car preclude Mother from litigating that issue in her subsequent suit against Driver? Explain.
3. Does the jury's conclusion in *Son v. Driver* that Driver was negligent preclude Driver from litigating that issue in the *Mother v. Driver* lawsuit? Explain.

AGENCY QUESTION

Over 5,000 individuals in the United States operate hot-air balloon businesses. A hot-air balloon has four key components: the balloon that holds the heated air, the basket that houses the riders, the propane burner that heats the air in the balloon, and the propane storage tanks.

The owner of a hot-air balloon business recently notified several basket and burner manufacturers that she or her agent might be contacting them to purchase baskets or burners. The owner did not specifically name any person as her agent. Basket and burner manufacturers regularly receive such notices from hot-air balloon operators. Such notices typically include no restrictions on the types of baskets or burners agents might purchase for their principals.

The owner then retained an agent to acquire baskets, burners, and fuel tanks from various manufacturers. The owner authorized the agent to buy only (a) baskets made of woven wicker (not aluminum), (b) burners that use a unique “whisper technology” (so as not to scare livestock when the balloon sails over farmland), and (c) propane fuel tanks.

The agent then entered into three transactions with manufacturers, all of whom had no prior dealings with either the owner or the agent.

(1) The agent and a large manufacturer of both wicker and aluminum baskets signed a contract for the purchase of four aluminum baskets for a total cost of \$60,000. The agent never told the manufacturer that he represented the owner or any other principal. The contract listed the agent as the buyer and listed the owner’s address as the delivery address but did not indicate that the address was that of the owner rather than the agent. When the baskets were delivered to the owner, she learned for the first time that the agent had contracted to buy aluminum, not wicker, baskets. The owner immediately rejected the baskets and returned them to the manufacturer. Neither the owner nor the agent has paid the basket manufacturer for them.

(2) The agent contacted a burner manufacturer and told him that the agent represented a well-known hot-air balloon operator who wanted to purchase burners. The agent did not disclose the owner’s name. The agent and the burner manufacturer signed a contract for the purchase of four burners that did not have “whisper technology” for a total price of \$70,000. The burner contract, like the basket contract, listed the owner’s address for delivery but did not disclose whose address it was. The burners were delivered to the owner’s business, and the owner discovered that the agent had ordered the wrong kind of burners. The owner rejected the burners and returned them to the manufacturer. Neither the owner nor the agent has paid the burner manufacturer for the burners.

(3) The agent contracted with a solar cell manufacturer to make three cells advertised as “strong enough to power all your ballooning needs.” The agent did not tell the manufacturer that he was acting on behalf of any other person. One week after the cells were delivered to the agent, he took them to the owner, who installed them and discovered that she could save a lot of money using solar cells instead of propane to power her balloons. The owner decided to keep the solar cells, but she has not paid the manufacturer for them.

Assume that the rejection of the baskets and the burners and the failure to pay for the solar cells constitute breach of the relevant contracts.

1. Is the owner liable to the basket manufacturer for breach of the contract for the aluminum baskets? Is the agent liable? Explain.
2. Is the owner liable to the burner manufacturer for breach of the contract for the burners? Is the agent liable? Explain.
3. Is the owner liable to the solar cell manufacturer for breach of the contract for the solar cells? Is the agent liable? Explain. (Do not address liability based upon restitution or unjust enrichment.)

EVIDENCE QUESTION

A woman who owns a motorized scooter brought her scooter to a mechanic for routine maintenance service. As part of the maintenance service, the mechanic inspected the braking system on the scooter. As soon as the mechanic finished inspecting and servicing the scooter, he sent the woman a text message to her cell phone that read, “Just finished your service. When you pick up your scooter, you need to schedule a follow-up brake repair. We’ll order the parts.”

The woman read the mechanic’s text message and returned the next day to pick up her scooter. As the woman was wheeling her scooter out of the shop, she saw the mechanic working nearby and asked, “Is my scooter safe to ride for a while?” The mechanic responded by giving her a thumbs-up. The woman waved and rode away on the scooter.

One week later, while the woman was riding her scooter, a pedestrian stepped off the curb into a crosswalk and the woman collided with him, causing the pedestrian severe injuries. The woman had not had the scooter’s brakes repaired before the accident.

The pedestrian has sued the woman for damages for his injuries resulting from the accident. The pedestrian has alleged that (1) the woman lost control of the scooter due to its defective brakes, (2) the woman knew that the brakes needed repair, and (3) it was negligent for the woman to ride the scooter knowing that its brakes needed to be repaired.

The woman claims that the brakes on the scooter worked perfectly and that the accident happened because the pedestrian stepped into the crosswalk without looking and the woman had no time to stop. The woman, the pedestrian, and the mechanic will testify at the upcoming trial.

The pedestrian has proffered an authenticated copy of the mechanic’s text message to the woman.

The woman plans to testify that she asked the mechanic, “Is my scooter safe to ride for a while?” and that he gave her a thumbs-up in response.

The evidence rules in this jurisdiction are identical to the Federal Rules of Evidence.

Analyze whether each of these items of evidence is relevant and admissible at trial:

1. The authenticated copy of the mechanic’s text message;
2. The woman’s testimony that she asked the mechanic, “Is my scooter safe to ride for a while?”; and
3. The woman’s testimony describing the mechanic’s thumbs-up.

TRUSTS AND FUTURE INTERESTS QUESTION

Ten years ago, Settlor validly created an inter vivos trust and named Bank as trustee. The trust instrument provided that Settlor would receive all of the trust income during her lifetime. The trust instrument further provided that

Upon Settlor's death, the trust income shall be paid, in equal shares, to Settlor's surviving children for their lives. Upon the death of the last surviving child, the trust income shall be paid, in equal shares, to Settlor's then-living grandchildren for their lives. Upon the death of the survivor of Settlor's children and grandchildren, the trust corpus shall be distributed, in equal shares, to Settlor's then-living great-grandchildren.

The trust instrument expressly specified that the trust was revocable, but it was silent regarding whether Settlor could amend the trust instrument.

Immediately after creating the trust, Settlor validly executed a will leaving her entire estate to Bank, as trustee of her inter vivos trust, to "hold in accordance with the terms of the trust."

Five years ago, Settlor signed an amendment to the inter vivos trust. The amendment changed the disposition of the remainder interest, specifying that all trust assets "shall be paid upon Settlor's death to University." Settlor's signature on this amendment was not witnessed.

A state statute provides that any trust interest that violates the common law Rule Against Perpetuities "is nonetheless valid if the nonvested interest in the trust actually vests or fails to vest either (a) within 21 years of lives in being at the creation of the nonvested interest or (b) within 90 years of its creation."

Recently, Settlor died, leaving a probate estate of \$200,000. She was survived by no children, one granddaughter (who would be Settlor's only heir), and no great-grandchildren. The granddaughter has consulted your law firm and has raised four questions regarding this trust:

1. Was Settlor's amendment of the inter vivos trust valid? Explain.
2. Assuming that the trust amendment was valid, do its provisions apply to Settlor's probate assets? Explain.
3. Assuming that the trust amendment was valid, how should trust assets be distributed? Explain.
4. Assuming that the trust amendment was invalid, how should trust assets be distributed? Explain.

NEGOTIABLE INSTRUMENTS QUESTION

A chef entered into a contract with a repairman pursuant to which the repairman agreed to repair the chef's commercial oven for \$10,000. The repairman agreed to accept as payment a negotiable promissory note for \$10,000 payable two months after its issuance.

After the repairman worked on the oven, the chef gave him a \$10,000 note as payment for the work. As agreed, the note was signed by the chef as maker, was payable to the order of the repairman, was payable in two months, and fulfilled all criteria for negotiability.

The next day, the repairman sold the note to a buyer for \$9,500. To effectuate the sale, the repairman wrote "no warranties" on the back of the note, signed his name immediately below that, and handed the note to the buyer. The buyer bought the note in good faith and without knowledge of any facts relating to the work that the repairman had performed for the chef.

Later, the buyer gave the note to his niece as a gift. To effectuate the gift, the buyer handed the note to the niece but did not indorse it.

Shortly thereafter, the chef discovered that the repair work had been done improperly and the oven still did not function correctly. The chef tried repeatedly to get the repairman to return to correct the repair work, but the repairman ignored all the chef's calls.

On the note's due date, the niece contacted the chef and demanded that he pay the amount of the note to her. The chef refused and told the niece that he would not pay the note because the repairman did not properly repair the oven.

1. What are the niece's rights against the chef? Explain.
2. What are the niece's rights against the repairman? Explain.
3. What are the niece's rights against the buyer? Explain.

February 2013 MEE

► *ANALYSES*

Real Property

Contracts

Constitutional Law

Secured Transactions

Federal Civil Procedure

Agency

Evidence

Trusts and Future Interests

Negotiable Instruments

REAL PROPERTY ANALYSIS

(Real Property I.D.1.a, 4. & 5.)

ANALYSIS

Legal Problems

- (1) Does the tenant have a defense to the landlord's action for unpaid rent based on constructive eviction?
- (2) Does the tenant have a defense to the landlord's action for unpaid rent based on the tenant's surrender of the premises?
- (3) What, if anything, may the landlord recover from the tenant for the period after the tenant vacated the building?

DISCUSSION

Summary

Under the common law, the tenant does not have a defense to the landlord's action for unpaid rent based on constructive eviction. Constructive eviction is based on the tenant proving that (1) the landlord breached a duty to the tenant, (2) the breach caused a loss by the tenant of the substantial use and enjoyment of the premises, (3) the tenant gave the landlord adequate notice and opportunity to repair, and (4) the tenant vacated the leased premises. Here, there was no constructive eviction because, although the tenant vacated and gave the landlord adequate notice, the landlord breached no express or implied duty to the tenant to repair the premises.

The tenant does not have a defense based on the landlord's acceptance of his surrender of the premises; a landlord's retention of keys does not constitute an acceptance of the tenant's surrender unless the landlord so intended, and here, the landlord's statements to the tenant at the time of the surrender of the keys do not evidence the intent to accept the tenant's surrender.

Under the common law, a landlord has no duty to mitigate damages but also cannot sue for rents due in the future. Under this approach, the landlord can sue only for past-due rents. Using this approach, on November 1, the landlord could recover all the rent past due (i.e., rent for September and October) but could not recover for rents due in the future. However, some courts have authorized recovery for future rent minus the fair market rental value of the premises. It is thus possible that the landlord could recover damages equal to the amount of rent due from September 1 to the end of the six-year lease term (\$180,000) minus the property's fair-market rental value over that same period.

Point One (45%)

The tenant was not constructively evicted, because the landlord had no duty to repair the commercial premises that were the subject of the lease.

The landlord and the tenant entered into a term-of-years lease because the lease specified both a beginning and an ending date. HERBERT HOVENKAMP & SHELDON F. KURTZ, *THE LAW OF PROPERTY* 256 (5th ed. 2001). Although a term-of-years lease normally cannot be terminated by the tenant prior to the end of the term, a tenant may terminate a term-of-years lease if the tenant

is constructively evicted. *See id.* at 286–88. Typically, as here, a claim of constructive eviction is made as a defense to a landlord’s action for damages or unpaid rent.

In order to establish a constructive eviction, the tenant must prove that the landlord breached a duty to the tenant, such as a duty to repair, and that the landlord’s breach caused a loss of the substantial use and enjoyment of the premises. The tenant must also show that he gave the landlord notice adequate to permit the landlord to meet his duty to the tenant and that the tenant vacated the leased premises. *Id.*; *see also* JOHN G. SPRANKLING, UNDERSTANDING PROPERTY LAW § 17.04 (2d ed. 2007).

Under the common law, there was no implied duty on the part of a landlord to repair leased premises; such a duty arose only if expressly set forth in the lease. SPRANKLING, *supra*, § 17.02[B]. Here, the written lease contained no term requiring the landlord to repair the air-conditioning. Even if the conversation created a lease term that the building had air-conditioning, that itself should not create a duty for the landlord to repair it.

Over the past several decades, courts have generally implied a duty to repair in *residential* leases either as part of a revised constructive eviction doctrine or based on an implied warranty of habitability. JOSEPH W. SINGER, PROPERTY 469–70 (3d ed. 2010). This shift has been justified based on the economic disparity between the typical landlord and tenant as well as the fact that residential tenants generally lack both the authority to authorize repairs to common areas of a building and the incentive to make repairs that will ultimately benefit the landlord.

However, courts have been more reluctant to imply a duty to repair in *commercial* leases, a context in which the tenant is often a valuable business and in a better position to assess and make repairs than is the landlord. *But see, e.g., Davidow v. Inwood North Professional Group*, 747 S.W.2d 373 (Tex. 1988). When courts have implied a duty to repair in a commercial lease, it is typically when the repair has been mandated by public authorities and involves work so substantial that it would not ordinarily fall within the tenant’s common law repair duty and/or the value of the repair would primarily inure to the landlord’s reversionary interest. *See Brown v. Green*, 884 P.2d 55 (Cal. 1994); Eugene L. Grant et al., *The Tenant as Terminator: Constructive Eviction in Modern Commercial Leases*, 2 THE COMMERCIAL PROPERTY LEASE ch. 15 (ABA 1997). Some courts have also permitted constructive eviction claims by commercial tenants of office buildings based on repairs required in common areas of the building. *See id.*; *Echo Consulting Services, Inc. v. North Conway Bank*, 669 A.2d 227 (N.H. 1995).

Here, the tenant is the owner of a valuable manufacturing operation and is the exclusive occupant of the building, the repair has not been mandated by public authorities, and the repair is not structural. To the contrary, the repair involves a feature of the building of unusual importance in the tenant’s manufacturing operation, and the tenant is likely far more knowledgeable than the landlord about the air-conditioning specifications necessary for the manufacture of the tenant’s product.

Based on these facts, it is unlikely that a court will find that the tenant in this case was constructively evicted. Although the tenant can show that he gave adequate notice to the landlord of the air-conditioning malfunction and vacated the premises, the lease was commercial, and it did not contain any promises or covenants by the landlord except a covenant of quiet enjoyment; a covenant of quiet enjoyment does not entail any repair obligations.

[NOTE: An examinee’s conclusion is less important than his or her demonstrated awareness of the elements of constructive eviction and the need to imply a repair duty for such a defense to be viable here. Although the implied warranty of habitability is not available to this tenant, Texas, Minnesota, and Massachusetts imply a warranty of suitability in commercial leases in limited circumstances, and an examinee might argue that this warranty should apply

here. If an examinee concludes that this warranty applies, he or she should discuss the other requirements for constructive eviction.

If the examinee wrongly concludes that the first element for a constructive eviction has been met, the examinee will then have to discuss the remaining three elements in order to conclude that the tenant can claim constructive eviction. The tenant would have a strong argument that the second element—substantial interference with the use and enjoyment of the premises—also is met. As indicated above, the landlord was aware that a functioning air-conditioning system was vital to the tenant’s manufacturing operations. The facts further indicate that the system had failed three times in the past few months. The landlord may try to argue that the malfunctions did not substantially interfere with the tenant’s use of the premises because the malfunctions caused the temperature to climb above 81 degrees for only a short period of time—3 hours, 6 hours, and 10 hours, respectively—on each occasion. The tenant will argue, however, that the landlord was aware that the tenant’s manufacturing operations could tolerate temperatures above 81 degrees for no more than 6 hours. The final malfunction exceeded that limit, destroying \$150,000 worth of the tenant’s products.

The tenant would also have a strong argument that the third element is met: notice and opportunity to cure. The tenant notified the landlord of the problem immediately upon the system’s first malfunction and did so again when it malfunctioned a second time and then a third time. The landlord might argue that there was insufficient time to cure the problem because the system corrected itself within a few hours on the first and second times. Although the malfunction lasted more than 10 hours the third time, the landlord might argue that the time period was insufficient to get a repair person on the premises. A court would be likely to find this argument unpersuasive, however, because the landlord could have attempted to correct the problem after the first and second malfunctions.

Assuming that the landlord was given sufficient notice and opportunity to cure, a court would be likely to conclude that the tenant also satisfied the final element of vacating the premises within a reasonable time. The landlord might argue that the tenant remained in the premises for almost four months after the air conditioning first failed, which would suggest that the problem was not so severe as to have constructively evicted the tenant. The tenant will argue, however, that he gave the landlord three months to cure the problem after the first two malfunctions threatened (but did not actually harm) his operations. The tenant then moved out shortly after the final malfunction caused temperatures to exceed the tolerance levels of his manufacturing operations.]

Point Two (10%)

The landlord did not accept the tenant’s surrender of the lease.

When a tenant wrongfully moves from leased premises with the intent to terminate the lease, the landlord may either accept the tenant’s surrender of the premises and terminate the lease or hold the tenant to the terms of the lease. *See HOVENKAMP & KURTZ, supra*, at 295–96. Here, the tenant’s only basis for the claim that the landlord accepted his surrender is the landlord’s retention of the keys. Many courts have considered whether a landlord’s retention of keys delivered by a tenant constitutes acceptance of surrender. The weight of the case law holds that retention of the keys alone does not constitute acceptance of surrender without other evidence showing that the landlord intended to accept the surrender. *See generally*, 49 AM. JUR. 2d, *Landlord and Tenant* § 213.

Here, the landlord’s note, saying “I repeat, the air-conditioning is not my problem. You have leased the building, and you should fix it,” strongly suggests that the landlord did not intend

Real Property Analysis

to accept the tenant's surrender. The tenant might argue that the landlord's failure to make a similar statement when the keys were sent to her a second time and she retained them evidences a change of heart. However, it is likely that a court would find that the landlord's retention of the keys represented a decision to safeguard the keys, not to accept the tenant's surrender.

[NOTE: An examinee should receive credit for arguing the other way with a well-reasoned argument.]

Point Three (45%)

Under the common law, the landlord had no duty to mitigate damages. Additionally, a landlord was not entitled to recover unpaid rents due in the future but was only entitled to recover rents in arrears at the time of the commencement of the suit. Applying the common law here, the landlord could recover \$5,000, the amount of rents due at the commencement of the suit (\$2,500 for September and the same for October). Today, some courts allow the landlord, under certain circumstances, to sue the tenant for damages (not rent) equal to the difference, if any, between the unpaid promised rent for the balance of the term (here \$175,000) and the property's fair rental value for the balance of the term.

Under the common law, because a lease was viewed as a conveyance instead of a contract, a landlord had no duty to mitigate damages resulting from a tenant's wrongful termination of a lease. A landlord could thus recover *the full value* of rents that were due and unpaid at the time of the suit. However, under the common law, a landlord could not sue a tenant for rents due in the future because there was always a possibility that the tenant might pay the rent when it was due. *See SINGER, supra* at 462. Thus, using the common law approach, on November 1, the landlord could only recover the full value of the two months' rent actually due and unpaid, i.e., \$5,000 for September and October.

Some courts have rejected the no-mitigation-of-damages rule based on efficiency concerns and society's interest in assuring that resources remain in the stream of commerce rather than lying vacant, *see id.* at 464–65, and allow landlords to sue tenants who have wrongfully terminated a lease for damages equal to the difference between the unpaid rent due under the lease and the property's fair market rental value. Other courts have abandoned the no-recovery-for-future-rent rule. These courts, responding to the fact that a tenant may well disappear or be judgment-proof by the time a lease term is concluded, have allowed a landlord to collect damages equal to the value of rent over the entire lease term minus the property's fair rental value when a tenant has wrongfully terminated a lease and unequivocally shown an intention not to return to the premises or pay future rent. Under this approach, a landlord receives approximately the same amount he would have received were there a duty to mitigate damages. *See Sagamore Corp. v. Willcutt*, 180 A. 464 (Conn. 1935).

Here, because the tenant returned the keys to the landlord and said, "I will not be returning to the building or making further rent payments," the landlord could establish abandonment and an intention not to return. It is thus possible that the landlord might recover damages in the amount of \$5,000 (for the months of September and October) plus the present value of \$175,000 minus the fair market rental value of the property over the remaining months of the lease.

CONTRACTS ANALYSIS

(Contracts II.; IV.E.)

ANALYSIS

Legal Problems

- (1) What was the legal effect of the sailor's October 31 letter to the builder?
- (2)(a) What was the legal effect of the builder's November 25 response to the sailor's October 31 letter?
- (2)(b) What was the legal effect of the sailor's refusal to take and pay for the boat on December 15?

DISCUSSION

Summary

This is a sale of goods governed by the Uniform Commercial Code. Because the sailor had reasonable grounds for insecurity about the builder's ability to deliver the boat in a timely manner when the sailor learned about the strike on October 31, the sailor was legally justified in sending the letter to the builder seeking adequate assurance of the builder's performance pursuant to the contract. The builder's failure to provide such assurance within a reasonable time operated as a repudiation of the contract. However, the builder was free to retract the repudiation before the sailor either cancelled the contract or materially changed position in reliance on the builder's repudiation. The builder retracted the repudiation when he informed the sailor that the workers were back and that the boat would be delivered by the date stipulated in the parties' contract. Because the sailor had taken no action in response to the original repudiation, he no longer had the right to cancel the contract with the builder. The sailor's subsequent statement that "our contract is over" may have constituted repudiation by the sailor. In any event, when the sailor failed to perform on December 15, that constituted breach.

Point One (35%)

Because the sailor had reasonable grounds for insecurity with respect to the builder's performance, the sailor's letter to the builder was a justified demand seeking assurance of the builder's performance under the contract; failure of the builder to provide such assurance within a reasonable time constituted repudiation of the contract.

The sailor was legally justified in sending the letter to the builder on October 31. Contract parties are entitled to expect due performance of contractual obligations and are permitted to take steps to protect that expectation. UCC § 2-609 states that "[w]hen reasonable grounds for insecurity arise with respect to the performance of either party, the other may in writing demand adequate assurance of due performance" Here, the sailor learned on October 31 that the builder's workers were on strike. This gave the sailor reasonable grounds for insecurity about the builder's ability to complete performance on time and thus gave the sailor the right to seek adequate assurance from the builder. Because the sailor's demand for assurance was justified, the builder was required to provide assurance that was adequate under the circumstances within a reasonable time (not to exceed 30 days) or be held to have repudiated the contract. UCC § 2-609(4).

Point Two(a) (30%)

The builder did not, within a reasonable time, provide the sailor adequate assurance of due performance; this failure to provide assurance constituted a repudiation of the contract.

Because the sailor, with legal justification (*see* Point One), demanded from the builder assurance of due performance, the builder's failure to provide such assurance within a reasonable time was a repudiation of their contract. *See* UCC § 2-609(4) ("After receipt of a justified demand[,] failure to provide within a reasonable time not exceeding thirty days . . . assurance of due performance . . . is a repudiation of the contract."). On October 31, the sailor requested that the builder provide adequate assurance regarding the completion of the boat by December 15. The builder did not respond to the sailor's letter until November 25—nearly a month later. Even if that response had been given in a reasonable time, it nonetheless did not provide assurance of due performance. It simply stated, "I'm sorry about the strike, but it is really out of my hands. I hope we settle it soon so that we can get back to work." Therefore, the builder's November 25 response did not provide adequate assurance in response to the sailor's justified request. Thus, the builder had repudiated the contract.

Point Two(b) (35%)

Although the builder repudiated the contract with the sailor, the builder probably retracted that repudiation on December 3 and the sailor was no longer entitled to cancel their contract. Thus, the sailor's failure to perform the sailor's obligations under the contract constituted a breach.

The builder's failure to provide adequate assurance of performance constituted a repudiation of their contract (*see* UCC § 2-609(4)), but the builder was free to retract that repudiation until the sailor cancelled the contract or materially changed his position or indicated by communication or action that the sailor considered the repudiation to be final. *See* UCC § 2-611(1) ("Until the repudiating party's next performance is due, he can retract his repudiation unless the aggrieved party has since the repudiation cancelled or materially changed his position or otherwise indicated that he considers the repudiation final.").

Here, the facts state that before the builder's December 3 telephone call to the sailor, the sailor did nothing in response to the builder's repudiation, such as contracting with a third party for a boat. The builder's December 3 call, informing the sailor that the boat would be timely delivered, probably constituted a retraction of the repudiation because it clearly indicated to the sailor that the builder would be able to perform. UCC § 2-611(2). Thus, after being so informed, the sailor did not have the right to treat their contract as cancelled. UCC § 2-611(3). Accordingly, the sailor's failure to perform the sailor's obligations under the contract by taking the boat and paying for it constituted a breach of the contract.

CONSTITUTIONAL LAW ANALYSIS

(Constitutional Law IV.A., F.2.b. & e.)

ANALYSIS

Legal Problems

- (1) Does AutoCo's operation of a "company town" result in its actions counting as those of the state for purposes of constitutional analysis?
- (2) Does the expulsion of a schoolchild for failure to recite the Pledge of Allegiance violate the First Amendment as applied through the Fourteenth Amendment?
- (3) Does the arrest of a pamphleteer in connection with violation of an anti-littering rule, where the littering is done by the recipients of leaflets distributed by the pamphleteer, violate the First Amendment as applied through the Fourteenth Amendment?

DISCUSSION

Summary

The First Amendment, as applied through the Fourteenth Amendment, applies only to state action. It does not typically govern private actors. However, courts have found state action where the private actor has exercised a "public function," such as running a privately owned "company town," as AutoCo has done here. Thus, First Amendment protections apply. By requiring the son to participate in a mandatory Pledge of Allegiance ceremony, AutoCo has compelled the expression of political belief in violation of the First Amendment as applied through the Fourteenth Amendment. The father's arrest in connection with breaching the anti-litter rule also violated the First Amendment as applied through the Fourteenth Amendment. Although state actors can regulate the incidental effects of speech on the public streets on a content-neutral basis, this power is limited and cannot extend to punishing a distributor of literature because of littering by third parties.

Point One (30%)

AutoCo's operation of a company town (including a school) makes it a state actor under the public function strand of the state action doctrine.

The individual rights protections of the Constitution apply only where there is "state action"—either direct action by the government or some action by a private party that is fairly attributable to the government. As a general rule, the actions of a private company like AutoCo or of a private school like the school operated by AutoCo would not constitute state action, and the protections of the Constitution (in this case the First Amendment) would not apply.

However, there are situations in which the actions of a private actor are attributed to the state. One such situation is when the private actor undertakes a public function. There are not many bright-line rules in the Supreme Court's state action doctrine, but one of them is this: Where a private actor undertakes a "public function," the Constitution applies to those actions. Where a corporation operates a privately owned "company town" that provides essential services typically provided by a state actor, the public function doctrine applies and the Constitution

binds agents of the town as if they were agents of the government. *See, e.g., Marsh v. Alabama*, 326 U.S. 501 (1946). Here, AutoCo does more than own the town; it provides security services, fire protection, sanitation services, and a school. Thus the actions of AutoCo constitute state action and are governed by the Fourteenth Amendment.

Point Two (35%)

The son's expulsion for failure to recite the Pledge of Allegiance violates the First Amendment as applied through the Fourteenth Amendment as a compelled expression of political belief.

As explained in Point One, the First Amendment applies to the school as a state actor.

Although children in public schools (and in schools subject to the First Amendment like the Oakwood school) have some First Amendment rights, *Tinker v. Des Moines Independent Community School District*, 393 U.S. 503, 506 (1969), schools have greater leeway to regulate the speech of students and teachers than the state would have outside the school context. *Hazelwood School Dist. v. Kuhlmeier*, 484 U.S. 260 (1988); *Morse v. Frederick*, 551 U.S. 393 (2007). However, the Supreme Court has long held that public schools may not force their students to participate in a flag salute ceremony when it offends the political or religious beliefs of the students or their families. *West Virginia Board of Educ. v. Barnette*, 319 U.S. 624 (1943) (invalidating a mandatory public school flag salute ceremony); *see also Wooley v. Maynard*, 430 U.S. 705 (1977) (invalidating compelled expression of political belief on state-issued license plates).

In this case, the school requires its students to participate in a flag salute and Pledge of Allegiance ceremony and punishes them when they refuse to participate. Pursuant to this policy, the school has expelled the son. This expulsion violates the First Amendment ban on compelled expression.

Point Three (35%)

Because the father was distributing leaflets in a traditional public forum, his trespass arrest violated the First Amendment as applied through the Fourteenth Amendment.

As explained in Point One, AutoCo is treated as a state actor. Thus, Oakwood's commercial district is treated as government-owned property for purposes of the First Amendment. Thus, the leafleting here is subject to the First Amendment because it is an expressive activity. *Schneider v. State of New Jersey, Town of Irvington*, 308 U.S. 147 (1939). When expression takes place on government-owned property, government regulation of the expression is assessed under the public forum doctrine. Public streets and sidewalks have long been held to be the classic example of a "traditional public forum" open to the public for expression. *Hague v. CIO*, 307 U.S. 496, 515–16 (1939). Because the father was distributing leaflets while standing on a street corner in the commercial district, his expressive activity occurred in a traditional public forum.

When a state tries to regulate expressive activity in a traditional public forum, it is prohibited from doing so based on the expressive activity's content unless its regulation is narrowly tailored to achieve a compelling governmental interest ("strict scrutiny"). In this case, however, AutoCo is regulating the father's expressive activity on the ostensibly neutral ground that his expressive activity has produced litter and made the street unsightly. When a state tries to regulate expressive activity without regard to its content, intermediate scrutiny applies. Under intermediate scrutiny, the true purpose of the regulation may not be the suppression of ideas (if so, then strict scrutiny applies), the regulation must be narrowly tailored to achieve a significant

governmental interest, and it must leave open ample alternative channels for expressive activity. *Ward v. Rock Against Racism*, 491 U.S. 781, 791 (1989).

Here, the application of the ordinance to the father will fail for two reasons. First, the Supreme Court has held that the government's interest in keeping the streets clean is insufficient to ban leafleting in the public streets, as the government power to regulate with incidental effects on public sidewalk speech is very limited. *See, e.g., Schneider*, 308 U.S. at 162 (leafleting/littering). Second, the regulation (a blanket ban on distribution that results in littering) is not narrowly tailored to protect expression. A narrowly tailored alternative would be prosecution only of people who litter. Moreover, the effect of the littering rule is likely to be a ban on all leafleting, thus eliminating an entire class of means of expression. This raises the possibility that there are not "ample alternative channels of communication" open to the father as required under the Court's standard of review for content-neutral regulation of speech.

[NOTE: Some examinees might argue that this is a "time, place, and manner" restriction, and that AutoCo might have greater latitude to regulate the public sidewalks under this theory. This argument is incorrect for two reasons. First, the Supreme Court has held that the power to regulate speakers through littering laws is very limited, for the reasons given and in the cases cited above. But more generally, a "time, place, and manner" restriction involves the shifting of speech from one time and place to another or to another manner; here, there is no shifting, but a direct punishment for expressive activity (albeit one couched in content-neutral terms). In addition, some examinees might read the ordinance to be, in effect, a total ban on leafleting, since most leafleting will produce some litter. Those examinees might note that the Court has required total bans on an entire mode of expression to satisfy strict scrutiny and analyze the father's prosecution here accordingly. *See United States v. Grace*, 461 U.S. 171, 177 (1983) (invalidating ban on display of signs on public sidewalks surrounding U.S. Supreme Court; "[a]dditional restrictions such as an absolute prohibition on a particular type of expression will be upheld only if narrowly drawn to accomplish a compelling governmental interest").]

SECURED TRANSACTIONS ANALYSIS

(Secured Transactions II.D., E.; IV.A., B., C.)

ANALYSIS

Legal Problems

- (1) Is a purchase-money security interest in consumer goods perfected even though there has been no filing of a financing statement?
- (2) Does a person who buys consumer goods for personal use take those goods free of a prior perfected purchase-money security interest in the goods?
- (3) Does a person who receives consumer goods as a gift take those goods subject to a prior perfected security interest in them?

DISCUSSION

Summary

The retailer's security interest in the bicycles was perfected, even though no financing statement was filed, because it was a purchase-money security interest in consumer goods. A purchase-money security interest in consumer goods is automatically perfected upon attachment.

The buyer is not subject to the retailer's security interest in the bicycle that the buyer bought from the man. Because the bicycle was consumer goods in the hands of the man, and the retailer never filed a financing statement covering the bicycle, the retailer's security interest is not effective against someone, like the buyer, who bought the bicycle for value, without knowledge of the retailer's security interest, and for personal use.

On the other hand, the retailer's security interest continues in the bicycle given to the friend, because the friend did not give value for the bicycle or buy it in the ordinary course of business.

Point One (35%)

The retailer's security interest in the bicycles attached on June 1. Because this interest was a purchase-money security interest in consumer goods, it was automatically perfected when it attached.

The retailer's security interest in the bicycles attached on June 1 when the man bought the bicycles (acquiring rights in the collateral), signed a security agreement containing a description of the collateral, and received value from the retailer (by being given credit with which to purchase the bicycles). UCC § 9-203(a) & (b).

Despite the retailer's failure to file a financing statement, its security interest was perfected. Pursuant to UCC § 9-309(1), a security interest is automatically perfected upon attachment if the goods are "consumer goods" and the security interest is a "purchase-money security interest."

In this case, the bicycles sold by the retailer to the man were consumer goods at the time of sale. The bicycles were "goods" because they were "movable when a security interest

attaches.” UCC § 9-102(a)(44). They were also consumer goods because they were “bought for use primarily for personal, family, or household purposes.” UCC § 9-102(a)(23).

The retailer’s security interest in these consumer goods was also a “purchase-money security interest.” A purchase-money security interest is an interest that secures a debt that was incurred in order to “enable the debtor to acquire rights in or the use of the collateral.” UCC § 9-103(a), (b)(1). Here, the man incurred an obligation to the retailer to purchase the bicycles, so the security interest he gave the retailer to secure that obligation was a purchase-money security interest.

Because the retailer’s security interest was a purchase-money security interest in consumer goods, it was automatically perfected on June 1, when the interest attached to the bicycles.

Point Two (35%)

The buyer took the bicycle free of the retailer’s security interest because (i) the retailer did not file a financing statement covering the bicycle, (ii) the bicycle was “consumer goods,” and (iii) the buyer bought the bicycle for value, without knowledge of the retailer’s security interest, and for personal use.

A security interest continues in collateral, even after a sale or other disposition of that collateral, unless the creditor authorized the disposition “free of the security interest” or another Article 9 exception applies. UCC §§ 9-201(a) and 9-315(a)(1).

However, a buyer of goods, like the buyer here, can take free of a prior security interest in those goods under certain circumstances. *See* UCC §§ 9-317(b) (buyers who give value and receive delivery of goods without knowledge of an unperfected security interest in the goods) and 9-320(a) & (b) (buyer in ordinary course of business; buyer of consumer goods in a consumer-to-consumer transaction who gives value). In this case, the retailer’s security interest was perfected when the buyer purchased the bicycle, so UCC § 9-317(b) does not protect the buyer. The buyer also is not a protected “buyer in ordinary course of business” because he did not purchase from a person who is in the business of selling bicycles. *See* UCC § 1-201(b)(9).

The buyer can, however, qualify for the protection of UCC § 9-320(b). That section provides that a buyer of goods from a person who used them for personal, family, or household purposes takes free of a perfected security interest in the goods if (1) the buyer had no knowledge of the security interest, (2) the buyer gave value for the goods, (3) the buyer purchased the goods primarily for personal, family, or household purposes, and (4) the purchase occurred before the filing of a financing statement covering the goods.

The buyer met all of these criteria. The man used the bicycle for personal purposes. The buyer purchased the bicycle from the man, and the buyer had no knowledge of the retailer’s security interest. The buyer gave value (\$400) for the bicycle, and he bought it “primarily for personal, family, or household purposes,” as he planned to use it for recreation, which is a personal rather than a business use. Finally, no financing statement had been filed. Therefore, under UCC § 9-320(b), the buyer took free of the retailer’s security interest.

Point Three (30%)

The retailer’s security interest continues in the bicycle that the man gave to the friend. Thus, the retailer can recover the bicycle from the friend because the friend did not give value for the bicycle or buy it in the ordinary course of business.

Secured Transactions Analysis

As noted in Point Two, the retailer did not authorize the man to dispose of the bicycle. Consequently, the retailer's security interest continued in the bicycle even after the man transferred ownership of the bicycle to the friend. *See* UCC §§ 9-201(a) and 9-315(a)(1). The retailer's security interest in the bicycle will be effective against the friend unless some other provision of Article 9 allows the friend to take the bicycle free of that security interest.

Unfortunately for the friend, there is no Article 9 provision that allows him to take free of the retailer's interest. The friend's basic problem is that he is not a buyer of the bicycle—he received the bicycle as a gift and did not give value for it. Thus, the friend is not protected by any of the applicable exceptions. *See* UCC §§ 9-317(b) (protecting *buyers* who give value for goods subject to an unperfected security interest), 9-320(a) (protecting *buyers* in ordinary course of business), and 9-320(b) (protecting *buyers* of consumer goods who give value).

In short, the retailer's security interest continues in the bicycle that the man gave to the friend. The friend took the bicycle subject to that security interest.

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure VI.E.)

ANALYSIS

Legal Problems

- (1) Does a judgment in a prior action preclude a nonparty from suing the same defendant on a closely related claim when the nonparty and the original plaintiff are in a family relationship?
- (2) Does a judgment rendered in an earlier action preclude a nonparty from litigating an issue that was actually decided in the first suit?
- (3) May a nonparty to an earlier action invoke the judgment in that action to preclude a party to the prior action from relitigating an issue that the party had a full and fair opportunity to litigate in the earlier action?

DISCUSSION

Summary

Pursuant to the doctrines of claim preclusion (*res judicata*) and issue preclusion (collateral estoppel), a judgment is binding on the parties thereto. In the absence of privity, nonparties to a prior suit cannot be bound by a judgment rendered in their absence. Thus, in the absence of privity, a nonparty to the first suit is not precluded from presenting her claim in a second suit even if it is factually related to the claims and defenses presented in the first suit; nor is she bound by determinations of issues made in the first suit. A family relationship, without more, does not support a finding of privity. For this reason, Mother, as a nonparty, is not bound by the judgment in the Son-Driver action. She may bring her separate claim for damage to her car, and she is not precluded from litigating the question of whether she was negligent in the maintenance of her car.

Driver, on the other hand, could be precluded from relitigating the issue of her negligence pursuant to the doctrine of non-mutual issue preclusion (also called non-mutual offensive collateral estoppel), which allows a nonparty to a prior action to invoke issue preclusion to prevent a party to that prior action from relitigating determinations of issues made therein. However, Mother may be prevented from invoking non-mutual collateral estoppel in this case because she could easily have joined her claim in the prior action but did not do so.

[NOTE: Federal common law governs the preclusive effect of a judgment rendered by a federal court sitting in diversity. *See Semtek Int'l, Inc. v. Lockheed Martin Corp.*, 531 U.S. 497, 508 (2001). But the *Semtek* Court concluded that federal common law, in this context, incorporates the preclusion law of the state in which the rendering federal court sits (unless the state law is incompatible with federal interests), *id.* at 508–09. Thus, State A's preclusion law determines the preclusive effect of the judgment rendered in Son's suit against Driver. The problem says that State A preclusion law is identical to federal preclusion law, so the following analysis utilizes general principles of preclusion drawn from Supreme Court case law (announcing federal preclusion rules) and the Restatement (Second) of Judgments.]

Point One (35%)

Under the doctrine of claim preclusion, the judgment rendered in the first action does not preclude Mother, a nonparty, from suing Driver for the damage to her car because the judgment binds only parties or those in privity with them, and Mother and Son are not in privity.

Driver may contend that the doctrine of claim preclusion (*res judicata*) precludes Mother from presenting a claim arising from the same nucleus of facts that was presented in the first action brought by Son. According to the doctrine of claim preclusion, “when a court of competent jurisdiction has entered a final judgment on the merits of a cause of action, the parties to the suit and their privies are thereafter bound ‘not only as to every matter which was offered and received to sustain or defeat the claim or demand, but as to any other admissible matter which might have been offered for that purpose.’” *Commissioner of Internal Revenue v. Sunnen*, 333 U.S. 591, 597 (1948) (citation omitted).

However, the doctrine of claim preclusion does not apply to Mother on the facts of this problem. First, Mother was not a party to the earlier case. “It is a principle of general application in Anglo-American jurisprudence that one is not bound by a judgment *in personam* in a litigation in which he is not designated as a party or to which he has not been made a party by service of process.” *Taylor v. Sturgell*, 553 U.S. 880, 884 (2008) (citing *Hansberry v. Lee*, 311 U.S. 32, 40 (1940)); see also RESTATEMENT (SECOND) OF JUDGMENTS § 34(3) (1982). This rule reflects our “deep-rooted historic tradition that everyone should have his own day in court.” *Martin v. Wilks*, 490 U.S. 755, 762 (1989) (citation omitted) (superseded by statute on other grounds). Since Mother was not a party to the first suit, she is not bound by the judgment unless an exception to the general rule applies.

Mother might be bound by the prior judgment if she were considered to have been sufficiently in privity with Son that Son represented her interests in that action. “A person who is not a party to an action but who is represented by a party is bound by and entitled to the benefits of a judgment as though he were a party.” RESTATEMENT (SECOND) OF JUDGMENTS § 41(1). But there is no suggestion in the facts of the problem that Son, who is an adult, purported to represent Mother’s interests in the first suit. “[C]lose family relationships are not sufficient by themselves to establish privity with the original suit’s party, or to bind a nonparty to that suit by the judgment entered therein” *Cuauhtli v. Chase Home Finance LLC*, 308 Fed. Appx. 772, 773 (5th Cir. 2009) (citation omitted); accord 18A CHARLES ALAN WRIGHT ET AL., FEDERAL PRACTICE AND PROCEDURE § 4459 (2d ed. 2002).

In *Taylor v. Sturgell*, *supra*, the Supreme Court identified other special circumstances in which nonparties may be bound by a prior judgment—when a nonparty consents to be bound; when a nonparty is in a pre-existing substantive legal relationship with a party (such as preceding and succeeding property owners); when a nonparty assumed control of the prior litigation; when a party seeks to relitigate through a proxy; or where a special statutory scheme seeks to foreclose successive litigation by nonparties. See *Taylor*, 553 U.S. at 893–95. None of these circumstances exists here.

Because Mother was not a party to the first suit and is not in privity with Son, who is an adult, the judgment in the first action does not preclude her from bringing her own claim against Driver.

Point Two (35%)

Under the doctrine of issue preclusion, the judgment rendered in the first action does not preclude Mother, a nonparty, from litigating the issue of her negligence in maintaining her car’s

brake lights because the judgment binds only parties or those in privity with them, and Mother and Son are not in privity.

By its affirmative response to a special interrogatory, the jury in the first action expressly concluded that “Mother negligently failed to ensure that the brake lights on her car were in proper working order.” Driver may attempt to invoke the doctrine of issue preclusion to preclude Mother from relitigating this issue in the second action.

[I]ssue preclusion arises in a second action on the basis of a prior decision when the same ‘issue’ is involved in both actions; the issue was ‘actually litigated’ in the first action, after a full and fair opportunity for litigation; the issue was ‘actually decided’ in the first action, by a disposition that is sufficiently ‘final,’ ‘on the merits,’ and ‘valid’; it was necessary to decide the issue in disposing of the first action, and . . . the later litigation is between the same parties or involves nonparties that are subject to the binding effect or benefit of the first action Once these requirements are met, issue preclusion is available not only to defend against a demand for relief, but also as offensive support for a demand for relief. Issue preclusion, moreover, is available whether or not the second action involves a new claim or cause of action.

18 CHARLES ALAN WRIGHT ET AL., FEDERAL PRACTICE AND PROCEDURE § 4416 at 392–93 (2d ed.); *see also* RESTATEMENT (SECOND) OF JUDGMENTS § 27 (1982).

Here, several of the elements necessary for issue preclusion are present. The same issue is involved in both actions—the issue of Mother’s negligence in failing to maintain the brake lights on her car. That issue was actually litigated in the first action and decided by the jury. There is nothing to suggest anything less than a full and fair opportunity to litigate. The judgment disposing of the issue was final.

Nevertheless, the judgment will not preclude Mother from relitigating the issue for two reasons. First, Mother was not a party to the first action and, as explained above, Mother and Son are not in privity. Therefore, she cannot be denied an opportunity to litigate the issue of her negligence. Second, it does not appear that the jury’s decision as to Mother’s negligence was necessary to the prior judgment against Driver. Nothing suggests that the finding on Mother’s negligence had any bearing on the outcome of the first action.

Point Three (30%)

Under the doctrine of non-mutual issue preclusion, the judgment rendered in the first action might preclude Driver from relitigating the issue of her negligence. However, Driver has a strong argument that such a result would be inconsistent with the policy against offensive use of non-mutual estoppel when the non-party plaintiff easily could have joined as a plaintiff in the first action.

Because Son already convinced the jury in the first action that “Driver was negligent in the operation of her vehicle,” Mother may wish to invoke the doctrine of non-mutual issue preclusion to prevent Driver from relitigating the question of her negligence. As noted above, “issue preclusion arises in a second action on the basis of a prior decision when the same ‘issue’ is involved in both actions; the issue was ‘actually litigated’ in the first action, after a full and fair opportunity for litigation; the issue was ‘actually decided’ in the first action, by a disposition that is sufficiently ‘final,’ ‘on the merits,’ and ‘valid’; it was necessary to decide the issue in disposing of the first action” 18 CHARLES ALAN WRIGHT ET AL., FEDERAL PRACTICE AND PROCEDURE § 4416 at 392 (2d ed.); *see also* RESTATEMENT (SECOND) OF JUDGMENTS § 27.

Here, these basic requirements for issue preclusion are met. First, the same issue is involved in both suits: whether Driver was negligent in the operation of her car. Second, this issue was actually litigated and decided in the first action; the jury answered a special interrogatory raising this very question. There is nothing to suggest that Driver lacked a full and fair opportunity to litigate the issue. Since a judgment was rendered against Driver for the injuries Son sustained as a result of Driver's negligence, resolution of the issue was necessary to dispose of the first action. Driver was a party to the first action, so she may be bound by the judgment.

[NOTE: Traditionally, issue preclusion required mutuality—both the party asserting issue preclusion and the party against whom issue preclusion was asserted were bound by the prior judgment. Under the traditional mutuality rule, Mother could not assert issue preclusion against Driver because Mother would not be bound by the judgment if Driver sought to rely on it. *See* Point One. There is no mutuality between Mother and Driver with respect to the prior judgment.

This traditional mutuality requirement has been abandoned in most jurisdictions. The Supreme Court rejected a strict mutuality requirement in *Blonder-Tongue Laboratories, Inc. v. University of Illinois Foundation*, 402 U.S. 313 (1971) (non-mutual defensive collateral estoppel used by a defendant to preclude a plaintiff from relitigating a claim the plaintiff previously litigated), and *Parklane Hosiery Co. v. Shore*, 439 U.S. 322 (1979) (non-mutual offensive collateral estoppel used by a plaintiff to preclude a defendant from relitigating a claim the defendant previously litigated). In *Parklane Hosiery*, the Court concluded (as a matter of federal preclusion law) that trial courts should have “broad discretion” to determine whether or not to permit a plaintiff to invoke non-mutual issue preclusion. “The general rule should be that in cases where a plaintiff could easily have joined in the earlier action or where . . . the application of offensive estoppel would be unfair to a defendant, a trial judge should not allow the use of offensive collateral estoppel.” *Id.* at 331.

The *Parklane Hosiery* decision identified a number of circumstances that might make it unfair to allow a plaintiff to invoke non-mutual issue preclusion (non-mutual offensive collateral estoppel in the traditional terminology) against a defendant. In particular, the *Parklane Hosiery* court suggested that issue preclusion may not be appropriate if the plaintiff in the second action “could easily have joined in the earlier action.” *Id.* Prohibiting plaintiffs from using non-mutual estoppel under such circumstances would promote judicial efficiency by encouraging plaintiffs to join the prior action. It would also discourage plaintiffs from staying out of prior litigation in order to secure, in effect, two bites at the apple: using the prior litigation offensively if the defendant loses and forcing the defendant to litigate a second time if the defendant wins the prior action.

An exceptional exam answer might therefore argue that non-mutual issue preclusion should be denied on these facts. Son and Mother both reside in State A; since they are related, they know each other well, and Son was driving Mother's car when the accident occurred. They could have sued together, and Rule 20 of the Federal Rules of Civil Procedure would have authorized joinder of their claims because those claims arose from the same transaction or occurrence and raised a common question of law or fact. FED. R. CIV. P. 20(a). The facts do not suggest that Mother had any reason not to join Son's suit other than a desire to see how Son's action concluded before bringing her own claim. *Cf. Nations v. Sun Oil Co. (Del.)*, 695 F.2d 933, 938 (5th Cir. 1983) (concluding that plaintiff “was entitled to await the development of his injuries and their predictable consequences”). Because it appears that Mother may be a “wait-and-see” plaintiff who could easily have joined the original action, a trial court might disallow, as a matter of discretion, her use of non-mutual issue preclusion.]

AGENCY ANALYSIS

(Agency I.; II.)

ANALYSIS

Legal Problems

- (1) Is the principal or the agent, or both, liable on contracts with a third party when the principal is an “undisclosed principal”?
- (2) Is the principal or the agent, or both, liable on contracts with a third party when the principal is “partially disclosed” or an “unidentified principal”?
- (3) Is the principal or the agent, or both, liable on contracts with a third party for the purchase of goods when the agent exceeded his authority but the principal nonetheless accepts the goods?

DISCUSSION

Summary

The agent, but not the owner, is liable to the basket manufacturer because the owner is an undisclosed principal and the agent acted without actual or apparent authority. Both the agent and the owner, however, are liable on the burner contract because the owner is an unidentified principal and the agent had apparent authority to enter into that contract. With respect to the solar cells contract, whether the owner is liable depends upon whether a court would follow the Second or Third Restatement of Agency, which take different positions on the effect of the ratification of a contract by an undisclosed principal. Under either, the agent would also be liable on the contract, as he was a party to the contract.

[NOTE: The contracts that are the subject of this question are contracts for the sale of goods and, therefore, are governed by Article 2 of the Uniform Commercial Code. Article 2, however, does not contain agency rules. Accordingly, common law concepts of agency are applicable. UCC § 1-103(b).]

Point One (35%)

The agent, but not the owner, is liable to the basket manufacturer. The agent had no actual authority to enter into the contract to buy aluminum baskets, and because the owner was an undisclosed principal, the manufacturer had no reason to believe that the agent had apparent authority. Furthermore, the manufacturer had no reason to believe that the agent was not contracting for his own benefit.

An agent acting on behalf of a principal can bind the principal to contracts if the agent has either actual or apparent authority. An agent has actual authority when contracting on behalf of his principal if he “reasonably believes, in accordance with the principal’s manifestations to the agent, that the principal wishes the agent so to act.” RESTATEMENT (THIRD) OF AGENCY § 2.01 (2006). Here, the agent was told to buy only wicker baskets, not aluminum baskets. Thus, when he contracted with the basket manufacturer to buy aluminum baskets, he had no actual authority to do so.

Agency Analysis

An agent acts with apparent authority “when a third party [with whom the agent acts] reasonably believes the actor has authority to act on behalf of the principal and that belief is traceable to the principal’s manifestations.” *Id.* § 2.03. Here the owner notified basket manufacturers that she or her agent might contact them to purchase baskets, but that notification did not specifically name the agent or any other person as the owner’s agent. Furthermore, the basket manufacturer had no prior dealings with the agent or the owner or any reason to think that the agent was acting for the benefit of anyone but himself. Thus, there is no basis to conclude that the basket manufacturer thought that the agent had apparent authority to act for the owner.

Generally, when an agent acts on behalf of an undisclosed principal and the agent lacks authority to enter into the contract, the agent is liable on the contract as a party to the contract, but the principal is not liable. This rule is consistent with the third party’s expectations. “The third party expected the agent to be a party to the contract because the agent presented the deal as if he were acting for himself. Moreover, if the third party is unaware of the principal’s existence, the third party must be relying on the agent’s solvency and reliability when entering into the contract.” *See* ROBERT W. HAMILTON, JONATHAN R. MACEY & DOUGLAS K. MOLL, CORPORATIONS, INCLUDING PARTNERSHIPS AND LIMITED LIABILITY COMPANIES 34 (11th ed. 2010). *See also* RESTATEMENT (THIRD) OF AGENCY § 6.03, cmt. c. Furthermore, because the third party has no idea that the agent is acting or is seemingly acting on behalf of another, there is no reason to believe that the third party would be expecting an undisclosed principal to be liable on the contract. *Id.*

Point Two (35%)

Because the owner is an unidentified (as opposed to undisclosed) principal, both she and the agent (as a party to the contract) probably are liable on the contract with the burner manufacturer.

When the agent contracted with the burner manufacturer, he did not have actual authority to do so, as the owner had expressly restricted the agent’s authority to purchase only burners with “whisper technology.” *See* Point One. However, the agent may have had apparent authority to buy burners without whisper technology.

An agent acts with apparent authority “when a third party [with whom the agent acts] reasonably believes the actor has authority to act on behalf of the principal and that belief is traceable to the principal’s manifestations.” RESTATEMENT (THIRD) OF AGENCY § 2.03 (2006). The owner indicated that an agent might contact the burner manufacturer. The notice contained no restriction regarding the type of burners that the agent was authorized to purchase. The facts indicate that burner manufacturers regularly receive such notices.

Although the agent told the burner manufacturer that he represented a well-known hot-air balloon operator, he did not disclose the owner’s name. Thus, the owner was a partially disclosed or unidentified principal. *See* RESTATEMENT (SECOND) OF AGENCY § 4(2) (1958) (using term “partially disclosed principal”); RESTATEMENT (THIRD) OF AGENCY § 1.04(2)(c) (2006) (using term “unidentified principal”). An agent for a partially disclosed principal may have apparent authority. RESTATEMENT (SECOND) OF AGENCY § 159 cmt. e (1958). Based upon (1) the notice sent by the owner, (2) the agent’s revelation that he was acting as an agent, and (3) the fact that burner manufacturers regularly receive such notices and sell to agents, the manufacturer may argue that it reasonably and actually believed that the agent was authorized to purchase burners without whisper technology. The manufacturer may also argue that because the agent revealed that he was an agent, his listing of the owner’s address as the delivery address connects the agent to the notice given by the owner. Arguably this distinguishes the burner contract from the basket

contract. Here, there is a strong case to support the conclusion that the agent had apparent authority; if he did, then the owner is liable to the burner manufacturer.

The agent also is liable as a party to the contract because he did not fully disclose his agency relationship. Although he told the burner manufacturer that he represented a well-known hot-air balloon operator, he did not disclose the owner's name. Generally even an authorized agent of a partially disclosed or unidentified principal is liable as a party to a contract with a third person. RESTATEMENT (SECOND) OF AGENCY § 321 (1958) ("unless otherwise agreed"); RESTATEMENT (THIRD) OF AGENCY § 6.02(2) (2006) ("unless the agent and the third party agree otherwise").

Point Three (30%)

Under the Second Restatement of Agency, the owner is not liable on the contract for solar cells because the agent did not have actual or apparent authority and the owner, as an undisclosed principal, cannot ratify the contract. Under the Third Restatement, the owner could be liable, as she ratified the contract. Under either Restatement, the agent is liable as a party to the contract.

The owner is not liable to the solar cell manufacturer for breach of the contract for the solar cells because the agent had no actual or apparent authority to purchase solar cells on the owner's behalf, and the owner, under the Second Restatement of Agency, did not ratify the contract with knowledge of the material facts. Thus, she is not liable as a ratifier of the contract.

The facts state that the agent had authority to purchase only propane fuel tanks. In addition, he had no apparent authority to purchase solar cells. The owner made no manifestations to the solar cell manufacturer that would lead a reasonable person in the manufacturer's position to believe that the agent had the authority to bind the owner to a contract to purchase solar cells. In fact, the agent made no manifestations at all to the solar cell manufacturer. Unlike with the basket manufacturer and the burner manufacturer, the owner did not notify the manufacturer of solar cells that an agent *might* contact it to purchase solar cells. In addition, the solar cells were delivered to the agent and not to the owner's address. In sum, the manufacturer was unaware of any relationship between the owner and the agent. As to the solar cell manufacturer, the owner is an undisclosed principal. There can be no apparent authority in the case of an undisclosed principal because there are no manifestations from the principal to the third person. *See* RESTATEMENT (SECOND) OF AGENCY § 8 cmt. a (1958) ("there can be no apparent authority created by an undisclosed principal"); RESTATEMENT (THIRD) OF AGENCY § 2.03 cmt. f (2006) ("apparent authority is not present when a third party believes that an interaction is with an actor who is a principal").

The owner also did not ratify the contract. Although the owner used the solar cells, generally a principal cannot ratify an unauthorized transaction with a third person "unless the one acting purported to be acting for the ratifier." RESTATEMENT (SECOND) OF AGENCY § 85(1) (1958).

The result differs under the Third Restatement, which expressly rejects the Second Restatement on this issue. The Restatement (Third) of Agency § 4.03 (2006) states, "A person may ratify an act if the actor acted or purported to act as an agent on the person's behalf." According to comment b, "an undisclosed principal may ratify an agent's unauthorized act." Under the Restatement (Third) of Agency rule, the owner probably ratified the transaction. The agent clearly acted on the owner's behalf, and in addition, the owner's conduct in using the solar cells "justifies a reasonable assumption that [she] is manifesting assent that the act shall affect [her] legal relations." *See id.* § 4.01(2).

Agency Analysis

The agent also is liable to the solar cell manufacturer for breach of the contract for the solar cells because he is a party to the contract. The facts indicate that the agent never told the solar cell manufacturer that he represented the owner or any other principal. Consequently, *even if* the agent were authorized (which, as discussed above, he is not), he would be liable as a party to the contract. *See* RESTATEMENT (SECOND) OF AGENCY § 322 (1958); RESTATEMENT (THIRD) OF AGENCY § 6.03(2) (2006). Here, he has no authority or apparent authority and is liable as a party to the contract.

The agent would also be liable under the Third Restatement. Under Restatement (Third) of Agency § 4.02(1) (2006), ratification generally relates back and the transaction is treated as if it were authorized at the time of the transaction. However, this does not relieve the agent of an undisclosed principal who ratifies an unauthorized transaction of liability under the ratified contract. *See id.* § 6.03(2) (authorized agent for undisclosed principal is a party to the contract) and § 4.03 cmt. b (“An undisclosed principal’s ratification does not eliminate the agent’s liability to the third party on the transaction . . .”).

[NOTE: An examinee may discuss the concept of inherent agency power. This concept is recognized by the Restatement (Second) of Agency § 8 A (1958), but the concept is not used in the Restatement (Third) of Agency (2006). Here, there are no facts to support that the agent had inherent authority.

As to contracts with agents for partially disclosed principals (e.g., the contract for the burners), the basic question is whether the acts done “usually accompany or are incidental to transactions which the agent is authorized to conduct.” RESTATEMENT (SECOND) OF AGENCY § 161 (1958). If so, the principal is bound if the other party “reasonably believes that the agent is authorized to do them and has no notice that he is not so authorized.” *Id.* The purchase of burners without whisper technology was not authorized, nor was it incidental to an authorized transaction. Therefore, there should not be inherent agency power.

As to contracts on behalf of undisclosed principals (e.g., the other two contracts), the basic question is whether the acts done are usual or necessary in the transactions the agent is authorized to transact. RESTATEMENT (SECOND) OF AGENCY § 194 (1958). The other two contracts seem fundamentally different from the authorized transactions. Therefore, there should not be inherent agency power.

Only minimal credit should be given for discussion of inherent agency power.]

EVIDENCE ANALYSIS

(Evidence II.A.; V.A., B., E., F., J., K.)

ANALYSIS

Legal Problems

- (1) Is the authenticated copy of the mechanic's text message relevant and admissible?
- (2) Is the woman's question, "Is my scooter safe to drive for a while?" relevant and admissible?
- (3) Is the woman's testimony describing the mechanic's thumbs-up relevant and admissible?

DISCUSSION

Summary

The mechanic's text message to the woman is relevant to whether (1) the woman lost control of the scooter due to its defective brakes, (2) the woman knew that the brakes needed repair, and (3) it was negligent for the woman to drive the scooter knowing that its brakes needed repair.

The mechanic's text message is hearsay if it is offered by the pedestrian to prove that the scooter's brakes needed repair. However, it fits the hearsay exception for present sense impressions and probably also fits the exception for business records. The mechanic's text message is not hearsay if it is instead offered by the pedestrian to prove the woman's state of mind (i.e., that she had notice that her brakes needed repair).

The woman's question to the mechanic and his response are also relevant to whether the brakes caused the accident and whether the woman was negligent. The question is not hearsay because the woman did not make an assertion.

The mechanic's thumbs-up response is nonverbal conduct intended by the mechanic as an assertion and is therefore an out-of-court statement. If the woman offers the mechanic's statement to prove that the scooter was actually safe to ride, the woman's testimony about the statement is hearsay.

However, the mechanic's statement is not hearsay if it is offered by the woman to prove her state of mind. Therefore, the woman's question and the mechanic's response are admissible to prove the woman's state of mind.

Point One(a) (20%)

The mechanic's text message to the woman should be admitted because it is relevant.

Evidence is relevant if it has "any tendency to make a fact more or less probable than it would be without the evidence." FED. R. EVID. 401. "Relevant evidence is admissible," unless it is inadmissible pursuant to some other rule. FED. R. EVID. 402.

The mechanic's text message to the woman, "When you pick up your scooter, you need to schedule a follow-up brake repair. We'll order the parts," is relevant for two reasons. First, this evidence has some tendency to make it more probable that the brakes malfunctioned and

Evidence Analysis

caused the accident. Second, it has some tendency to make it more probable that the woman was negligent in riding her scooter after being told by the mechanic that it required further repair.

Point One(b) (30%)

The mechanic's text message fits either the hearsay exception for present sense impressions or the exception for business records, or it is admissible non-hearsay.

The mechanic's text message is a statement under Rule 801(a) because it is "a written assertion." FED. R. EVID. 801(a). The text message is hearsay if the pedestrian offers it to prove the "truth of the matter asserted in the statement" (i.e., that the scooter's brakes required repair), which resulted in the woman losing control of the scooter and causing the accident. FED. R. EVID. 801(c).

However, the mechanic's text message fits the hearsay exception for "present sense impressions" under Rule 803(1) because it is "[a] statement describing or explaining an event or condition made while or immediately after the declarant perceived it." FED. R. EVID. 803(1). Here, the mechanic's text message described the condition of the scooter immediately after he perceived it during the maintenance service.

The mechanic is a person with knowledge of the condition of the scooter, so if text messages regarding repairs were made and kept by the mechanic in the ordinary course of business, this text message also fits the business records exception. Under Rule 803(6), a business record is a record of an act "made at or near the time by . . . someone with knowledge" and "the record was kept in the course of a regularly conducted activity of a business" and "making the record was a regular practice of that activity." FED. R. EVID. 803(6).

However, the text message is not hearsay if it is instead offered to prove that the woman was negligent because she rode her scooter after the mechanic told her it required repair. If offered for this purpose, it would not be offered for the truth of the matter asserted in the statement, but to show the woman's belief about the condition of the scooter (her state of mind).

Point Two (10%)

The woman's question to the mechanic should be admitted because it is not hearsay.

The woman's question to the mechanic is relevant because, along with the mechanic's thumbs-up response (*see* Point Three), it has some tendency to make it more probable that the woman was not negligent and/or that the scooter brakes did not malfunction and cause the accident. FED. R. EVID. 401. The woman's question does not raise hearsay concerns because it is not an assertion.

Hearsay is defined under Rule 801(a) as "an oral assertion, written assertion, or nonverbal conduct." Although "assertion" is not further defined, "a favorite [definition] of writers in the [evidence] field for at least a century and a half [is that] the word simply means *to say that something is so*, e.g., that an event happened or a condition existed." 2 MCCORMICK ON EVIDENCE § 246 (6th ed. 2006). Under this definition, the woman's question is not hearsay because it is not an assertion.

Point Three(a) (20%)

The mechanic's thumbs-up to the woman is a nonverbal assertion that is relevant, and the woman's testimony about that response is admissible.

Hearsay is defined under Rule 801(c) as a “statement,” that is, “a person’s oral assertion, written assertion, or nonverbal conduct, if the person intended it as an assertion.” FED. R. EVID. 801(a). Here, when the mechanic responded to the woman’s question (“Is my scooter safe to ride for a while?”) with a thumbs-up gesture, the facts suggest that he intended his nonverbal conduct as an assertion that, in his opinion, the scooter was safe to ride.

The mechanic’s assertion is relevant and admissible to prove that the woman was not negligent because the evidence makes it more probable that, at the time of the accident, she believed that the scooter was safe to ride, despite the fact that the brakes required repair. FED. R. EVID. 401. Admission of the woman’s description of the mechanic’s thumbs-up for this purpose does not raise hearsay concerns because the evidence would not be offered for the truth of the matter asserted, but to show the woman’s belief about the condition of the scooter (her state of mind).

Point Three(b) (20%)

The mechanic’s thumbs-up is relevant to determine whether the scooter’s brakes malfunctioned, causing the accident, but if offered for this purpose it is also hearsay.

The mechanic’s nonverbal assertion is relevant to the determination of whether the scooter’s brakes malfunctioned, causing the accident. However, if offered to prove the “truth of the matter asserted in the statement” (i.e., that the scooter was safe to ride for a while), it is hearsay that does not fit any hearsay exception.

TRUSTS AND FUTURE INTERESTS ANALYSIS

(Trusts and Future Interests I.C.1. & 4., G.; II.F.)

ANALYSIS

Legal Problems

- (1)(a) Was the revocable trust amendable?
- (1)(b) If the trust was amendable, must the amendment have been executed in accordance with the state Statute of Wills in order to be valid?
- (2) If the trust amendment was valid, does the amendment apply to the probate estate assets passing to the trust pursuant to Settlor's will?
- (3) If the trust amendment was valid, should the trust property be distributed to University?
- (4) If the trust amendment was not valid, should the trust property be distributed to Settlor's grandchild (her only heir) or held in further trust in accordance with the terms of the original trust instrument?

DISCUSSION

Summary

A revocable trust is amendable even if the trust instrument does not expressly grant to the trust settlor a power to amend. Both inter vivos trusts and amendments thereto are valid even though not executed in accordance with the requirements applicable to wills.

Under the Uniform Testamentary Additions to Trusts Act, a revocable trust may be amended at any time prior to the settlor's death, and the amendment applies to the disposition of assets conveyed to the trust pursuant to a will even if the will was executed prior to the date of the amendment.

At Settlor's death, trust assets, including probate assets passing to the trust under Settlor's will, would go to University if, as is the case here, the trust amendment was valid. If the amendment was invalid, the trust assets would continue to be held in further trust because there is no violation of the common law Rule Against Perpetuities.

Point One(a) (30%)

Settlor retained the right to amend the inter vivos trust despite her failure to expressly reserve this power.

At issue here is whether a retained power of revocation includes the power to amend, sometimes referred to as the power to modify. The Restatement (Second) of Trusts § 331 cmt. g provides that if a settlor has a power to revoke, that retained power ordinarily includes a power to modify (amend) as well. Comment g also notes that the power to amend includes both a power to withdraw trust assets and a power to "modify the terms of the trust." The Uniform Trust Code, which provides that a power to revoke includes the power to amend, is consistent with this view.

UNIF. TRUST CODE § 602; *accord* RESTATEMENT (THIRD) OF TRUSTS § 63 cmt. The theory is that even though a power to amend was not expressly retained by a settlor, the goal of amendment, assuming the power was not included in the power to revoke, could easily be achieved by first revoking the trust and then creating a new trust with the same terms contemplated by the amendment. To require this would put form over substance.

Thus, by expressly retaining the power to revoke the trust, Settlor retained a power to amend the inter vivos trust despite her failure to expressly reserve this power.

[NOTE: Under the common law, a trust is irrevocable unless the settlor expressly retains a power to revoke the trust. Conversely, under the Uniform Trust Code, a trust is revocable unless the terms of the trust expressly provide otherwise. *See* UNIF. TRUST CODE § 602. The Trust Code's position on revocation follows the minority view in the United States and is inconsistent with prior Restatements of Trusts (*see* Restatement (Second) of Trusts § 330). Here, the trust is revocable because Settlor expressly retained a power of revocation.

The Uniform Trust Code has been adopted in 24 jurisdictions: Alabama, Arizona, Arkansas, District of Columbia, Florida, Kansas, Maine, Michigan, Missouri, Nebraska, New Hampshire, New Mexico, North Carolina, North Dakota, Ohio, Oregon, Pennsylvania, South Carolina, Tennessee, Utah, Vermont, Virginia, West Virginia, and Wyoming.]

Point One(b) (10%)

Settlor's amendment of the trust was valid despite her failure to have her signature to the trust amendment witnessed.

Neither the common law nor state statutes require a trust instrument or an amendment to a trust instrument to be executed in accordance with the formalities prescribed for execution of a will. Indeed, an inter vivos trust that does not involve real estate can be created orally. Under the Uniform Trust Code, the only requirements for creating a valid inter vivos trust are intent, the specification of beneficiaries, and the designation of a trustee. *See* UNIF. TRUST CODE § 402; *accord* RESTATEMENT (THIRD) OF TRUSTS § 13.

Here, the amendment meets the requirements of both the Uniform Trust Code and the common law. Thus, the fact that Settlor's signature was not witnessed when she signed the amendment to the trust does not make the amendment invalid.

Point Two (20%)

Under the Uniform Testamentary Additions to Trusts Act, a revocable trust may be amended at any time prior to the settlor's death, and the amendment applies to probate assets poured into the trust at the settlor's death pursuant to the settlor's will even when the will was executed prior to the date of the amendment.

Historically, property owned by an individual at her death passed to the individual's heirs or to beneficiaries designated in a will executed with the formalities (writing, signing, witnessing) prescribed by state law. However, when a will devises property to the trustee of an inter vivos trust, then the provisions of the trust—which may not have been executed in accordance with the formalities required for wills—effectively determine who will receive the property. Because of this possibility, some early cases held that if an inter vivos trust was not executed with the same formalities required for a valid will, then the trust was ineffective to dispose of probate assets poured into the trust at the settlor's death pursuant to the settlor's will.

This line of cases has been overturned by the Uniform Testamentary Additions to Trusts Act (the Act), now Uniform Probate Code § 2-511. Under the Act, adopted in almost all

jurisdictions, a testamentary bequest to the trustee of an inter vivos trust established by the testator during his or her lifetime is valid if the trust is in writing, it is identified in the testator's will, and the trust instrument was executed before, concurrently with, or after the execution of the will. *Id.* The Act further specifies that such a bequest is valid even if the trust is amendable or revocable and that a later amendment applies to assets passing to the trust by a previously executed will.

Thus, because the trust amendment is valid, its terms apply to assets received by Bank from Settlor's estate.

Point Three (10%)

If the trust amendment was valid, then the trust assets, including assets passing to the trust under Settlor's will, should go to University.

Under the trust amendment, all trust assets (including the assets of Settlor's probate estate poured into the trust) pass to University. The facts provide no basis for failing to comply with Settlor's stated intentions.

Point Four (30%)

If the trust amendment was invalid, trust assets, including assets received pursuant to Settlor's will, should be held in accordance with the terms of the original trust instrument because those terms do not violate the Rule Against Perpetuities.

Under the dispositive terms of the original trust instrument, Settlor created successive income interests in her surviving children and grandchildren with a remainder interest in her great-grandchildren. Because the trust was revocable, the period during which the common law Rule Against Perpetuities requires that interests vest (i.e., 21 years plus lives in being) began to run from the date Settlor no longer had a power of revocation (here, her death), not the date on which the trust was created. *See* JESSE DUKEMINIER, STANLEY J. JOHANSON, JAMES LINDGREN & ROBERT SITKOFF, WILLS, TRUSTS, AND ESTATES 678 (7th ed. 2005).

Under the common law Rule Against Perpetuities, Settlor's trust is thus valid. At the time of Settlor's death, she was survived by no children, one granddaughter, and no great-grandchildren. Because Settlor cannot have more children after her death, the only income beneficiary of the trust is Settlor's surviving granddaughter. This granddaughter is the only person who can produce great-grandchildren of Settlor; thus, all great-grandchildren must, of necessity, be born during the lifetime of Settlor's only surviving granddaughter, who is a life in being. The granddaughter's interest vested at Settlor's death, and the great-grandchildren's interest will vest at the death of the granddaughter. There is no need to wait the additional 21 years permitted under the Rule. Thus, under the common law and the statute given in the facts, the nonvested interest in the great-grandchildren is valid.

[NOTE: Both modern wait-and-see statutes and the Uniform Statutory Rule Against Perpetuities upon which the statute in the facts is modeled provide that before using either reform to validate an otherwise invalid nonvested interest, one should first determine if the nonvested interest violates the common law Rule. If it does not, then there is no need to reform. This proposition, which is applicable in all MEE user jurisdictions that have not simply abrogated the rule, is tested by this problem.]

NEGOTIABLE INSTRUMENTS ANALYSIS

(Negotiable Instruments III.; IV.; V.)

ANALYSIS

Legal Problems

- (1)(a) What rights does a person in possession of a note that has been indorsed in blank by the payee have against the maker of the note?
- (1)(b) Which defenses may the maker of a note raise against a person entitled to enforce it who is not a holder in due course but is a transferee from a holder in due course?
- (2) What rights does a person entitled to enforce a note have against an indorser who transferred it for consideration with no warranties?
- (3) What rights does a person entitled to enforce a note have against a previous holder who transferred it as a gift without indorsing it?

DISCUSSION

Summary

The niece is a holder of the note and is thus a person entitled to enforce it. The chef, the issuer of the note, is obligated to pay it to the niece as the person entitled to enforce it. The niece is not subject to any defense or claim of the chef relating to the improper repair of the oven because the niece has the rights of a holder in due course. When the buyer bought the note from the repairman, the buyer became a holder in due course of the note and thus took it free of any personal defenses the chef had against the repairman. Even though the niece is not herself a holder in due course of the note, the niece succeeded to the buyer's rights as holder in due course and thus took free of the chef's personal defenses.

Because the chef refused to pay the note, the niece can recover from the repairman on the repairman's obligation as indorser. The niece cannot recover on the note against the buyer, however, because the buyer did not indorse the note (and thus incurred no indorser's obligation) and the buyer did not receive any consideration for transfer of the note to the niece (and, therefore, made no transfer warranty).

[NOTE: Although Article 9 of the Uniform Commercial Code governs the sale of promissory notes (a point that might be correctly noted by examinees), that Article does not determine the answer to any of the questions posed.]

Point One(a) (20%)

The niece is the holder of the note and thus may enforce it against the chef, who is the issuer of the note.

The chef is the maker of the note and, thus, its issuer. *See* UCC §§ 3-103, 3-105. The issuer of a note is obligated to pay it in accordance with its terms to a "person entitled to enforce" it. UCC § 3-412. The niece is a "person entitled to enforce" the note. This is because the niece is the

holder of the note, and a holder of a note is a person entitled to enforce it. UCC § 3-301. The niece is the holder of the note because (i) the repairman's signature on the back of the note not accompanied by words indicating a person to whom the note was made payable was a "blank indorsement," which had the effect of making the note a bearer instrument, (ii) anyone in possession of a bearer instrument is a holder of it, and (iii) the niece is in possession of the note. *See* UCC §§ 1-201(b)(21)(A), 3-204, and 3-205. Accordingly, the chef has an obligation to the niece to pay the note in accordance with its terms, and the niece may enforce that obligation.

Point One(b) (40%)

The niece is not a holder in due course of the note, but, because she is a transferee from the buyer, who was a holder in due course, she has the same enforcement rights as the buyer. Because the buyer, as a holder in due course, would have been able to enforce the note against the chef without being subject to defenses or claims arising from the improper repair, the niece has the same rights and will not be subject to the chef's defenses or claims about the repair.

As noted in Point One(a), the chef has an obligation to the niece to pay the note in accordance with its terms. However, except against a person with the rights of a holder in due course, the chef can raise any defenses or claims in recoupment that he would have if the claim on the note were an ordinary contract claim. UCC § 3-305. Thus, except against a holder in due course, the chef would be able to raise the improper repair as a defense or a claim in recoupment (a claim in response to the niece's claim).

But claims in recoupment and most defenses cannot be raised against a person with the rights of a holder in due course. Against a holder in due course, the chef can raise only the four "real" defenses listed in UCC § 3-305(a)(1) (infancy; duress, lack of legal capacity, or illegality that nullifies the obligation of the obligor under other law; fraud in the *factum*; discharge in insolvency proceedings), none of which is present here.

The niece is not a holder in due course because she did not take the note for value. *See* UCC §§ 3-302(a)(2)(i) (criteria for holder in due course status) and 3-303(a) (definition of "value"). But this does not mean that the niece is subject to the chef's claim arising out of the improper repair. The buyer was a holder in due course of the note because he took the note for value (\$9,500), in good faith, and without notice of any facts that would have alerted him to the chef's defense against the repairman. UCC § 3-302(a)(2). As a holder in due course, the buyer owned the note free of the chef's claim because that claim did not constitute a "real" defense. UCC § 3-305(b). When the buyer gave the note to the niece, this constituted a "transfer" of the note. *See* UCC § 3-203(a). When a note is transferred, the transferee receives "any right of the transferor to enforce the instrument, including any right as a holder in due course." UCC § 3-203(b). Under this rule (also known as the "shelter principle"), the buyer transferred his freedom from the chef's defenses to the niece and the niece can enforce the note free of the chef's defenses.

Point Two (20%)

Because the chef dishonored the note, the niece can recover from the repairman on the repairman's obligation as indorser.

The chef's refusal to pay the note constituted dishonor. *See* UCC § 3-502. The repairman, as an indorser of the note (*see* Point One(a)), incurred the obligations of an indorser under UCC § 3-415(a). When a note has been dishonored, one of the obligations of an indorser is to pay the

amount of the note to a person entitled to enforce it. Therefore, the repairman is liable for the amount of the note to the niece, a person entitled to enforce the note (so long as the niece gives proper notice of dishonor to the repairman).

[NOTE: Because the repairman indorsed the note without warranties, there are no transfer warranties. UCC § 3-416 cmt. 5.]

Point Three (20%)

The niece cannot recover on the note against the buyer as either indorser or warrantor because the buyer did not indorse the note and did not receive consideration for transferring the note to the niece.

The buyer did not indorse the note and, therefore, did not incur the obligation of an indorser to pay the note upon dishonor.

The niece cannot recover from the buyer under a transfer warranty theory because transfer warranties are made only by a person “who transfers an instrument for consideration.” Here, the buyer gave the instrument to the niece as a gift. So the buyer made no transfer warranty. UCC § 3-416(a). Therefore, the niece cannot recover from the buyer on that theory.

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MEE Questions
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*Used as one of the six questions on the July 2013 Uniform Bar Examination in Alabama, Arizona, Colorado, Idaho, Missouri, Montana, Nebraska, North Dakota, Utah, Washington, and Wyoming.

Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the July 2013 MEE. Each test includes nine 30-minute questions; user jurisdictions may elect which of the nine questions they wish to use. (Jurisdictions that administer the Uniform Bar Examination [UBE] use a common set of six MEE questions as part of their bar examinations.) In the actual test, the questions are simply numbered rather than being identified by area of law. The instructions for the test appear on page iii. For more information, see the *MEE Information Booklet*, available on the NCBE website at www.ncbex.org.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, followed by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Federal Civil Procedure question on the July 2013 MEE tested the following areas from the Federal Civil Procedure outline: I.A.1., B. & E., Jurisdiction and venue—Subject matter jurisdiction—Federal courts, Jurisdiction over parties, and Venue, forum non conveniens, and transfer. Subject matter outlines are included in the *MEE Information Booklet*.

Description of the MEE

The MEE consists of nine 30-minute essay questions, any of which a jurisdiction may select to include as part of its bar examination. (UBE jurisdictions use a common set of six MEE questions as part of their bar examinations.) It is administered by participating jurisdictions on the Tuesday before the last Wednesday in February and July of each year. The areas of law that may be covered by the questions on any MEE are Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Conflict of Laws, Constitutional Law, Contracts, Criminal Law and Procedure, Evidence, Family Law, Federal Civil Procedure, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Uniform Commercial Code (Negotiable Instruments and Bank Deposits and Collections; Secured Transactions). Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Answer all questions according to generally accepted fundamental legal principles unless your jurisdiction has instructed you to answer according to local case or statutory law. (UBE instructions: Answer all questions according to generally accepted fundamental legal principles rather than local case or statutory law.)

July 2013 MEE

► *QUESTIONS*

Federal Civil Procedure

Agency and Torts

Family Law

Evidence

Negotiable Instruments

Corporations

Contracts

Real Property

Decedents' Estates

FEDERAL CIVIL PROCEDURE QUESTION

A woman was born and raised in the largest city (“the city”) of State A, where she also attended college.

Three years ago, the woman purchased a 300-acre farm and a farmhouse in neighboring State B, 50 miles from the city. She moved many of her personal belongings to the State B farmhouse, registered her car in State B, and acquired a State B driver’s license. She now spends seven months of the year in State B, working her farm and living in the farmhouse. She pays income taxes in State B, but not in State A, and lists State B as her residence on her federal income tax returns.

However, the woman has not completely cut her ties with State A. She still lives in the city for five months each year in a condominium that she owns. She still refers to the city as “home” and maintains an active social life there. When she is living on the farm, she receives frequent weekend visits from her city friends and occasionally spends the weekend in the city at her condominium. She is a member of a health club and a church in the city and obtains all her medical and dental care there. She is also registered to vote and votes in State A.

A food product distributor sells food items to grocery stores throughout a five-state region that includes States A and B. The distributor is a State C corporation. Its corporate headquarters are in State B, where its top corporate officers, including its chief executive officer (CEO), have their offices and staff. The distributor’s food processing, warehousing, and distribution facilities are all located in State A.

Three years ago, the woman and the distributor entered into a 10-year written contract providing that the woman would sell all the produce grown on her farm each year to the distributor. The contract was negotiated and signed by the parties at the distributor’s corporate headquarters in State B.

The woman and the distributor performed the contract for two years, earning her \$80,000 per year. Recently, the distributor decided that the woman’s prices were too high. At a meeting at its corporate headquarters, the distributor’s CEO asked the woman to drop her prices. When she refused, the CEO informed her that the distributor would no longer buy produce from her and that it was terminating the contract.

The woman has sued the distributor for anticipatory breach of contract. She seeks \$400,000 in damages. She has filed suit in the United States District Court for the District of State A, invoking the court’s diversity jurisdiction.

State A’s long-arm statute provides that “a court of this State may exercise personal jurisdiction over parties to the fullest extent permitted by the due process clause of the Fourteenth Amendment to the United States Constitution.”

The distributor has moved to dismiss the woman’s action for lack of subject-matter jurisdiction and for improper venue.

1. Should the court grant the motion to dismiss for lack of subject-matter jurisdiction? Explain.
2. Should the court grant the motion to dismiss for improper venue? Explain.

AGENCY AND TORTS QUESTION

After a dump truck unloaded gravel at a road construction job site, the trucker negligently drove away with the truck bed still in a raised position. The raised truck bed hit an overhead cable, causing it to fall across the highway.

The telephone company that owned the fallen cable sent one of its employees to the scene in a company vehicle. The employee's responsibilities were expressly limited to responding to cable-damage calls, assessing damage, and reporting back to the telephone company so that a repair unit could be dispatched.

The foreman of the road construction job site asked the telephone company employee if the foreman's crew could lift the cable off the highway. Fearful that the cable might be damaged by traffic, the telephone company employee said, "Go ahead, pick it up. Just don't damage the cable." The foreman then directed his crew to stretch the cable over the highway so that traffic could pass underneath.

Shortly thereafter, a bus passing under the telephone cable hit the cable and dislodged it, causing the cable to strike an oncoming car. The driver lost control of the car and hit a truck carrying asphalt to the road construction site. As a result of the collision, hot asphalt spilled and severely burned the foreman.

The foreman is now threatening to sue the telephone company on the ground that it is responsible for its employee's negligence in authorizing the road construction crew to stretch the cable across the highway. The telephone company argues that, even assuming that its employee was negligent, the telephone company is not liable because:

1. the telephone company employee's acts were outside the scope of his employment and thus cannot be attributed to the telephone company;
2. there is no other agency theory under which the foreman could hold the telephone company liable for its employee's acts; and
3. the telephone company employee's acts were not the proximate cause of the foreman's injuries.

Assess each of the telephone company's responses.

FAMILY LAW QUESTION

Seven years ago, a married couple had a daughter.

Recently, the mother joined a small religious group. The group's members are required to contribute at least half their earnings to the group, to forgo all conventional medical treatments, and to refrain from all "frivolous" activities, including athletic competitions and sports. The mother has decided to adhere to all of the group's rules.

Accordingly, the mother has told the father that she has given half of her last two paychecks to the group and that she plans to continue this practice. The father objects to this plan and has accurately told the mother that "we can't pay all the bills without your salary."

The mother has also said that she wants to stop giving their daughter her prescribed asthma medications. The father opposes this because the daughter has severe asthma, and the daughter's physician has said that regular medication use is the only way to prevent asthma attacks, which can be life-threatening. The mother also wants to stop the daughter's figure-skating lessons. The father opposes this plan, too, because their daughter loves skating. Because the father works about 60 hours per week outside the home and the mother works only 20 hours, the father is afraid that the mother will do what she wants despite his opposition.

The mother, father, and daughter continue to live together. They do not live in a community property jurisdiction.

1. Can the father or the state child welfare agency obtain an order
 - (a) enjoining the mother from making contributions from her future paychecks to the religious group? Explain.
 - (b) requiring the mother to take the daughter to skating lessons? Explain.
 - (c) requiring the mother to cooperate in giving the daughter her prescribed asthma medications? Explain.
2. If the father were to file a divorce action against the mother, could a court award custody of the daughter to him based on the mother's decision to follow the religious group's rules? Explain.

EVIDENCE QUESTION

The city police department received a 911 call regarding a domestic violence incident. The caller said that she was staying with her sister and her sister's boyfriend. The caller said that she had called the police because her sister's boyfriend was becoming violent. The police department records all 911 calls. The relevant portions of the 911 recording are as follows:

Caller: My sister's boyfriend is out of control right now. He just threw a broken beer bottle at my sister. It hit her on the arm. Now he's holding a chair like he's going to throw that at her, too.

Police Dispatcher: Where is your sister?

Caller: She's running toward the bathroom.

Police Dispatcher: Is she injured?

Caller: I see some blood on her arm.

Police Dispatcher: Does he have a gun?

Caller: I don't see a gun.

A nearby police officer arrived on the scene five minutes after the caller telephoned 911. The police officer found the boyfriend pacing in the front yard and ordered him to sit in the rear seat of the patrol car. The boyfriend sat in the patrol car, and the officer locked the door from the outside so that the boyfriend would stay in the car while the officer spoke to the sister.

When the sister saw that her boyfriend was locked in the patrol car, she came out on the porch to speak with the officer. The sister was in a highly agitated and emotional state, and she had several fresh cuts on her right arm. The officer asked her how she got the cuts. The sister replied, "My boyfriend threw a bottle at me which cut my arm." The sister declined the officer's offer of medical assistance but said that she wanted to press charges against her boyfriend. The sister was in tears throughout her conversation with the officer.

The boyfriend was charged in state court with battery and disorderly conduct. The prosecutor made every effort to secure the appearance of both the sister and the caller at trial, but when the trial began, the sister and the caller did not appear.

The prosecutor is attempting to convict the boyfriend without trial testimony from the sister or the caller. The prosecutor plans to introduce the caller's statements to the police dispatcher and to call the officer to testify and to repeat the statements the sister made to him at her house to prove that the boyfriend attacked the sister.

The 911 recording containing the caller's statements to the police dispatcher has been properly authenticated. Defense counsel has objected to the admission of (1) the caller's statements to the police dispatcher on the 911 recording and (2) the officer's testimony repeating the sister's statements to the officer (at her house). Defense counsel asserts the following:

- a) The caller's statements to the police dispatcher are inadmissible hearsay.
- b) Admission of the caller's statements to the police dispatcher would violate the boyfriend's constitutional rights.
- c) The officer's testimony repeating the sister's statements is inadmissible hearsay.
- d) Admission of the officer's testimony repeating the sister's statements would violate the boyfriend's constitutional rights.

This jurisdiction has adopted rules of evidence identical to the Federal Rules of Evidence and interprets the provisions of the Bill of Rights in accordance with relevant United States Supreme Court precedent.

How should the trial court rule on each defense objection? Explain.

NEGOTIABLE INSTRUMENTS QUESTION

A man asked a friend for a loan. The friend was willing to make the loan so long as the man paid interest at a rate that would enable the friend to make a profit on the transaction. After some discussion, they agreed that the friend would lend the man \$4,000, to be repaid one month later together with interest at a rate two percentage points higher than the “prime interest rate” charged by First Bank. (First Bank’s prime interest rate is reported daily in the financial press.)

At dinner that evening, the friend handed the man a check for \$4,000, payable to his order, that was drawn on the friend’s account at First Bank. In exchange, the man handed the friend a document signed by him and dated that day. The document read, in its entirety, as follows: “The undersigned hereby agrees to pay to bearer the sum of \$4,000, plus interest at a rate two percentage points higher than the prime interest rate charged by First Bank on the date hereof, no later than one month from the date hereof.”

After dinner, as the two waited for a bus together, they were robbed. The robber took the check from the man and the document described above from the friend.

The next day, the robber forged the man’s signature on the back of the check and then sold the check to a check-cashing business, handing the check to the manager of the business in exchange for \$3,500 in cash. The business and its employees acted in good faith and had no reason to believe that the check did not belong to the robber or that the man’s signature had been forged. The following day, the robber sold the document that he had stolen from the friend to a local investor, handing the investor the document in exchange for \$2,500 in cash. The investor acted in good faith and had no reason to believe that the document did not belong to the robber.

A few days later, the manager of the check-cashing business took the check to First Bank, handed the check to the teller, and asked that the amount of the check be paid. But the teller refused to pay because the friend had contacted First Bank and stopped payment on the check. Accordingly, the teller handed the check back to the manager.

On the date on which the document signed by the man called for him to pay, the investor contacted the man and demanded payment. The man responded that he would not pay because his promise had been made to his friend, not to the investor, and, moreover, he should not have to pay because the friend’s check had been stolen from him with the result that he never received the money that his friend was supposed to loan him.

1. Does the check-cashing business have a right to recover the amount of the check from the friend? Explain.
2. Is the document signed by the man a negotiable instrument? Explain.
3. Assuming that the document is a negotiable instrument, does the investor have a right to recover from the man the amount that the man promised to pay in the document he gave to the friend? Explain.

CORPORATIONS QUESTION

On February 2, Alice, Bob, and Carla formed ABC Hospitality, LLC (ABC), a member-managed limited liability company, for the purpose of building, owning, and running a 100-room luxury hotel in their hometown. ABC soon began to experience unexpected financial problems, prompting Bob to look for other investment opportunities.

On March 10, Bob told Alice and Carla that, although he would remain as a member of ABC, he would no longer contribute any capital to ABC, and he was also becoming a co-owner of the Metro Inn, an existing 200-room hotel in the same town near the ABC hotel project. Alice and Carla objected to Bob's plan, fearing that he might put the interests of the Metro Inn ahead of his existing obligations to ABC. In response, Bob cited § 5.1 of ABC's Operating Agreement, which states as follows:

Members of ABC shall not in any way be prohibited from or restricted in managing, owning, or otherwise having an interest in any other business venture that may be competitive with the business of ABC.

Shortly after Bob became a co-owner of the Metro Inn, ABC's financial situation worsened. Alice and Carla worried that ABC would not be able to pay a bill it owed to its concrete supplier. Alice proposed to pay the concrete supplier's bill from her own personal funds and then obtain reimbursement from ABC once the hotel project was completed. Alice wanted to do this so that she could file a personal financial statement which underreported her assets and so enable her son to qualify for student financial aid. Carla agreed to this proposal. Alice and Carla also agreed to alter ABC's financial records so that it would appear as if ABC had paid the concrete supplier's bill out of its own accounts, without showing the obligation to reimburse Alice for that amount.

In the weeks following Alice's payment to the concrete supplier, several other of ABC's bills became due. Alice tried to pay as many of these bills as she could using her personal funds, but despite her best efforts, it soon became clear that ABC was rapidly approaching insolvency. On August 15, the hotel's designer left a message for Carla seeking payment of an overdue bill.

Alice and Carla were concerned about the solvency of the company. Without responding to the designer, Alice and Carla, acting with Bob's consent, sold all of ABC's property and remaining assets. Alice and Carla each kept one-third of the sale proceeds and gave the remaining one-third to Bob. They did not file articles of dissolution with the state. When the designer later called Carla again about the bill, she responded that ABC had been "dissolved" and that no payment would be forthcoming.

1. Did Alice and Carla have any legal basis to object to Bob's co-ownership of the Metro Inn? Explain.
2. Under what theory or theories could Alice, Bob, or Carla be personally liable to the designer? Explain.

CONTRACTS QUESTION

On May 1, a manufacturer and a chef met at a restaurant trade show. The manufacturer showed the chef some carving knives that were on sale for \$100 each. After examining the knives, the chef said, "I love these knives! I'll take 10 of them. Please send them to my restaurant within the month. As soon as I receive them, I'll send you a check for \$1,000." The manufacturer said, "I'll ship the 10 knives to your restaurant in a few weeks," and he took the chef's address for shipping purposes.

On May 15, the manufacturer sent six knives to the chef. Enclosed in the shipping box was a document on the manufacturer's letterhead that stated in its entirety: "It is a pleasure to do business with you. Enclosed, pursuant to our agreement, are six knives. Please remit \$600 at your earliest convenience."

On May 17, the chef sent the manufacturer a check for \$600 and included in the envelope an unsigned note to the manufacturer, handwritten on plain paper, requesting the remaining four knives. The manufacturer did not respond to the note.

The knives were particularly well-suited for the chef's uses, and the \$100 price was a bargain, so the chef was very eager for the manufacturer to deliver the remaining four knives. On June 17, the chef wrote to the manufacturer claiming that the manufacturer was contractually bound to sell the chef 10 knives and that the manufacturer had breached that contract by furnishing only 6 knives. The manufacturer did not reply to the chef's letter.

Is there an enforceable contract against the manufacturer that binds him to sell 10 knives to the chef? Explain.

REAL PROPERTY QUESTION

Two years ago, a builder constructed a house for a woman and conveyed that house to her for \$300,000 at the closing by a warranty deed, which was promptly recorded. The sale contract contained no express warranties relating to the condition of the house. To finance the purchase, the woman borrowed \$200,000 from a local bank secured by a mortgage on her new house. The mortgage note provided that in the event of the woman's failure to make two consecutive monthly mortgage payments, the balance would become immediately due and payable. The mortgage was promptly recorded.

One year ago, the woman accepted a new job and moved. At that time, her house was worth \$360,000 and there was a balance on the mortgage of \$195,000. She sold the house to a man and delivered a quitclaim deed to him in exchange for \$160,000. The quitclaim deed was promptly recorded and made no reference to the woman's mortgage obligation. The mortgage obligation was not discharged at the closing. However, the man immediately began to make the woman's monthly mortgage payments to the bank after the closing.

Nine months ago, water seeped into the basement of the house during a major storm, causing substantial damage. It is undisputed that the seepage was due to defective concrete used by the builder and not to any negligence on the builder's part. The man called the builder, told him about the seepage, and demanded that the builder fix the concrete. The builder responded: "That's your problem." The man then repaired the concrete at a cost of \$80,000.

Thereafter, the man sued the builder to recover the \$80,000 he had spent to repair the concrete. While the case was pending, the man stopped making mortgage payments. The bank sued the man to foreclose on the mortgage and, if necessary, obtain a deficiency judgment against him on the note if the sale proceeds were insufficient to discharge the mortgage debt. The man has joined the woman as a third-party defendant in the lawsuit.

1. Is the man likely to prevail against the builder to recover the \$80,000 he spent to repair the concrete? Explain.
2. Is the man personally liable for the outstanding balance on the mortgage note between the woman and the bank? Explain.
3. If the bank is successful in its foreclosure action, will the man be able to recover damages from the woman? Explain.

DECEDENTS' ESTATES QUESTION

Twenty years ago, John and Mary were married. One month before their wedding, John and Mary signed a valid prenuptial agreement in which each of them waived "any property rights in the estate or property of the other to which he or she might otherwise be legally entitled upon the termination of their marriage by death or divorce."

Seventeen years ago, John executed a valid will, which provided as follows:

I, John, leave my entire estate to my wife, Mary. However, if I should hereafter have children, then I leave three-fourths of my estate to my wife, Mary, and one-fourth of my estate to my children who survive me, in equal shares.

Fifteen years ago, John had an extramarital affair with Beth, who gave birth to their child, Son. Both Beth and John consented to Son's adoption by Aunt. At the time of the adoption, Beth, John, and Aunt agreed that Son would not be told that he was the biological child of Beth and John.

Three years ago, Aunt died, and Son moved into John and Mary's home. At that time, John admitted to Mary that he had had an extramarital affair with Beth which had resulted in Son's birth.

Three months ago, Mary filed for divorce. Nonetheless, she and John continued to live together.

One month ago, before John and Mary's divorce decree was entered, John was killed in a car accident. John's will, executed 17 years ago, has been offered for probate. John's will did not designate anyone to act as the personal representative of his estate.

John was survived by Mary, Son, and John's mother.

1. To whom should John's estate be distributed? Explain.
2. Who should be appointed as the personal representative of John's estate? Explain.

July 2013 MEE

▶ *ANALYSES*

Federal Civil Procedure

Agency and Torts

Family Law

Evidence

Negotiable Instruments

Corporations

Contracts

Real Property

Decedents' Estates

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure I.A.1., B. & E.)

ANALYSIS

Legal Problems

(1)(a) What requirements must be met for a federal court to have jurisdiction in a case based on diversity?

(1)(b) For purposes of diversity jurisdiction, is the woman a citizen of State B, where she maintains a home and conducts her farming business, or of State A, where she has lived for most of her life and to which she returns for several months each year, and which she calls “home”?

(1)(c) For purposes of diversity jurisdiction, is the distributor a citizen of State A (where it has its food processing, warehousing, and distribution facilities), State B (where it has its corporate headquarters), and/or State C (where it is incorporated)?

(2) Is venue proper in State A, even though the acts and omissions giving rise to the woman’s claim occurred in State B and the distributor’s corporate headquarters and state of incorporation are outside State A?

DISCUSSION

Summary

Because the woman’s claim is based on state law and the amount in controversy exceeds the jurisdictional amount (\$75,000), the key issue in determining whether subject-matter jurisdiction exists is whether the plaintiff, the woman, and the defendant, the distributor, are citizens of different states. The woman is most likely a domiciliary and therefore a citizen of State A, where she has lived continuously all her life and which she still calls “home.” While an argument can be made that she has become a citizen of State B, the fact that she spends the majority of her time each year in State B and treats it as her residence for certain purposes probably does not amount to an abandonment of her State A domicile under the circumstances.

For diversity purposes, corporations may have dual citizenship. The distributor is a citizen of State C, where it is incorporated. The distributor is also a citizen of State B, the state where it has its principal place of business. Because the distributor is a citizen of States B and C, and the woman is probably a citizen of State A, complete diversity exists and the court should not dismiss the action for lack of jurisdiction.

Assuming that diversity jurisdiction exists, venue is proper in State A, and the court should not dismiss for improper venue. In an action founded solely on diversity, venue is proper in a district in which the defendant resides. Corporate defendants are deemed to “reside” in any state where they are subject to personal jurisdiction. Although the distributor is incorporated in State C and its headquarters are in State B, it conducts sufficient business activities to subject it to personal jurisdiction in State A, and thus is deemed to reside there for venue purposes.

Point One(a) (10%)

A federal court has jurisdiction of a complaint based on state law if the amount in controversy exceeds \$75,000 and there is complete diversity between the parties. Here, the amount-in-controversy requirement is satisfied.

Federal district courts have original jurisdiction over state-law-based suits involving citizens of different states where the amount in controversy exceeds \$75,000. 28 U.S.C. § 1332. In determining the amount in controversy, a court will accept the plaintiff's good faith allegations as to damages unless it appears to a legal certainty that the plaintiff cannot recover that amount. *St. Paul Mercury Indemnity Co. v. Red Cab Co.*, 303 U.S. 283 (1938). Here, the woman's claim for \$400,000 in damages appears to have been made in good faith, given that the woman had earned \$80,000 a year in the first two years of the contract and that the distributor breached the contract with eight years remaining. Certainly, there is nothing to suggest that the woman will recover less than \$75,000 to a legal certainty. Accordingly, the key issue is whether the woman and the distributor are citizens of different states.

Point One(b) (35%)

The woman is probably a citizen of State A. But an argument can be made that she has acquired a new domicile in State B and therefore has become a citizen of State B.

To determine an individual U.S. citizen's state citizenship for diversity purposes, courts look to the state of the individual's domicile when the complaint was filed. *Newman-Green, Inc. v. Alfonzo-Larrain*, 490 U.S. 826, 830–31 (1989). A person's domicile is generally determined by two elements: (1) residence in a state, and (2) an intent to remain in that state. In cases like this one, where an individual resides for extended periods in more than one state, the determination of domicile often turns on "a complex inquiry into an individual's intent." *Ner Tamid Congregation of North Town v. Krivoruchko*, 620 F. Supp. 2d 924, 931 (N.D. Ill. 2009). Courts look at a variety of facts, none of which is dispositive on its own (and many of which can be manipulated by the individual concerned) in an attempt to determine the individual's true, fixed, permanent home and the place to which the individual intends to return when absent. Relevant facts include the individual's residence, the location of the person's property, the person's voting behavior, the location of bank accounts, the individual's memberships and personal associations, automobile registration, place of employment, and other matters. 13E CHARLES ALAN WRIGHT, ARTHUR R. MILLER & EDWARD H. COOPER, FEDERAL PRACTICE AND PROCEDURE § 3612 (3d ed. 2009).

It is unclear whether the woman is domiciled in State A or State B. The woman was clearly a domiciliary of State A, the only state in which she had ever lived, until she bought the farm and farmhouse in State B. Despite her purchase of the State B farm, she maintains many social connections with State A, continues to secure medical and dental treatment in State A, returns to State A to live every winter, and continues to vote and attend church there. One could argue that these facts show that the woman never intended to abandon her State A domicile, but always retained the intent to return there.

On the other hand, the woman did acquire property in State B, she moved many of her personal belongings there, and she lives there for most of the year. Moreover, she took several steps that suggest her intent to establish a State B domicile, including registering her car there, obtaining a State B driver's license, filing state income taxes only in State B, and listing State B as her residence on her federal tax returns.

Although the matter is debatable, the facts suggest that the woman did not move to State B with the requisite intent to remain there. Instead, it appears that she always intended that State A would remain her home, although her livelihood requires her presence in State B for much of the year. In cases of this sort, some courts seek to determine the “center of gravity” of an individual’s life. *See, e.g., Galva Foundry Co. v. Heiden*, 924 F.2d 729 (7th Cir. 1991). Despite the fact that the woman lives in State B for two months more of the year than she lives in State A, it appears that the “center of gravity” of her life is State A, and that a court would conclude that she is a domiciliary and therefore a citizen of State A.

[NOTE: Examinees who demonstrate an understanding of the complexity of this issue, and who use the key facts to develop a cogent argument, should receive full credit regardless of their conclusion on this point.]

Point One(c) (25%)

The distributor is a citizen of both State C, where it is incorporated, and State B, where it has its principal place of business (i.e., where its corporate headquarters are located).

By statute, a corporation is a citizen both where it is incorporated and where it has its principal place of business. 28 U.S.C. § 1332(c)(1). The distributor is incorporated in and therefore is a citizen of State C. So the question is where the distributor has its principal place of business.

Until the Supreme Court’s decision in *Hertz Corp. v. Friend*, 559 U.S. 77 (2010), the federal courts were divided about how to identify a corporation’s principal place of business. *See generally* JACK H. FRIEDENTHAL, MARY KAY KANE & ARTHUR R. MILLER, CIVIL PROCEDURE 36–37 (4th ed. 2005). Some courts used a nerve-center test that focused on where the corporation’s decision-making authority was located. Other courts applied a corporate-activities/operating-assets test that focused on where a corporation’s business activities occurred.

In *Hertz Corp.*, the Supreme Court decided that a corporation’s principal place of business for diversity purposes would be deemed to be “the place where a corporation’s officers direct, control, and coordinate the corporation’s activities,” its so-called “nerve center.” 559 U.S. at 92–93. In this case, the distributor’s corporate headquarters are in State B, its top officers have their offices and staff in State B, and its decisions regarding the contract with the woman were made in State B. All of these facts suggest that State B is the place where the corporate officers “direct, control, and coordinate” the distributor’s activities, and that State B is therefore the distributor’s principal place of business.

The distributor, therefore, is a citizen of State B (as well as of State C). If the woman is a domiciliary of State A (*see* Point One(b)), there is complete diversity of citizenship and the motion to dismiss for lack of jurisdiction should be denied.

[NOTE: If an examinee previously concluded that the woman is a domiciliary of State B, then that examinee should also conclude that the action must be dismissed for lack of subject-matter jurisdiction because there would not be diversity of citizenship between the woman and the distributor.]

Point Two (30%)

Because the distributor has sufficient contacts with State A to be subject to personal jurisdiction there, the distributor resides in State A for purposes of venue.

The woman brought this action in the United States District Court of State A. The issue, therefore, is whether a State A venue can be justified under the general federal venue statute. When, as here, a federal court’s jurisdiction is based on diversity, 28 U.S.C. § 1391(b) provides

that venue is proper (1) in any district where a defendant resides if all defendants reside in the same state, or (2) in any district where a substantial part of the acts or omissions giving rise to the action occurred, or (3) in any district where any defendant is subject to personal jurisdiction, if there is no other district in which the action might be brought.

A State A venue is appropriate if the distributor “resides” in the District of State A for purposes of the venue statute. According to 28 U.S.C. § 1391(c), a corporation resides where it is subject to personal jurisdiction at the time the action is commenced. So the question is whether the distributor is subject to personal jurisdiction in State A.

Rule 4(k) indicates that a federal district court may exercise personal jurisdiction to the same extent as a state court of general jurisdiction in the state where the district court sits. State A’s long-arm statute extends jurisdiction as far as the Due Process Clause of the 14th Amendment allows. The Due Process Clause permits the exercise of personal jurisdiction over out-of-state defendants like the distributor if they have minimum contacts with the forum state such that the exercise of jurisdiction would not offend traditional notions of fair play and substantial justice. *International Shoe Co. v. Washington*, 326 U.S. 310 (1945). The nature of the contacts required depends on whether the suit arises out of or is related to the defendant’s contacts with the forum state.

Here, the distributor maintains its business facilities in State A, including food processing, warehousing, and distribution facilities. Regardless of whether the woman’s cause of action is deemed to be related to those contacts, these continuous and substantial business connections with State A would warrant a State A court to exercise jurisdiction over the distributor. Moreover, requiring the distributor to defend this action in State A is not likely to be viewed by the court as unfair or unreasonable. Whether the exercise of personal jurisdiction is fair and reasonable depends on various considerations such as the burden on the defendant of having to litigate in the forum state, the plaintiff’s interest in a convenient forum for obtaining relief, the state’s interest in providing a forum, and the interests of the interstate judicial system in efficient resolution of disputes. *Burger King Corp. v. Rudzewicz*, 471 U.S. 462, 477 (1985). Given modern transportation and communication, the distributor’s burden of defending in a state where it does continuous and substantial business is minimal even if the suit is unrelated to the distributor’s business in that forum.

While the woman lives in State B for most of the year, the State A federal court is located close to her home in the city, where she lives for part of the year. Furthermore, because the woman is a part-year resident of State A, State A has some interest in providing a forum where she can obtain redress for legal harms. On the other hand, adjudication in State A is not particularly efficient. Aside from the woman, who resides in State A for part of the year, it appears that the bulk of the evidence and witnesses relevant to her case will be located in State B. Nonetheless, that fact alone would not be enough to defeat State A’s jurisdiction over the distributor in this case.

Because State A could assert personal jurisdiction over the distributor at the commencement of the action (had the issue been raised), the distributor will be deemed to “reside” in State A, rendering the District of State A an appropriate venue under 28 U.S.C. § 1391(b)(1). The motion to dismiss for improper venue should be denied.

[NOTE #1: By failing to raise the defense of personal jurisdiction in its motion, the distributor waived the defense. *See* FED. R. CIV. P. 12(b) & (h). However, the venue statute asks whether the distributor was subject to personal jurisdiction *at the commencement* of the suit, so the distributor’s waiver of possible personal jurisdiction defense does not affect the venue inquiry. An examinee should receive credit for a personal jurisdiction analysis ONLY if it is offered in the context of determining where the distributor “resides” for venue purposes.]

[NOTE #2: Here, neither the second nor the third basis for venue is applicable. As to the second basis for venue (a district where a “substantial part” of the relevant acts occurred), the woman’s claim is based on an alleged breach of contract. The facts state that this contract was negotiated in State B, that performance occurred in State B, and that the decision to stop performing on the contract was made in State B. It does not appear that any of the acts or omissions giving rise to the woman’s claim occurred in the District of State A.

The third basis for venue is applicable only if there is no other district where the case could be brought. Here, as just noted, the actions giving rise to the woman’s claim took place in State B, and there were no impediments to her bringing the claim there. Because there is another district where suit could have been brought, a State A venue cannot be based on the absence of such a district.]

AGENCY AND TORTS ANALYSIS

(Agency II.B.; III. / Torts II.E.1. & F.1.)

ANALYSIS

Legal Problems

- (1) Was the employee acting within the course and scope of his employment when he authorized the foreman to lift the cable?
- (2) Did the telephone company cloak the employee with apparent authority that was relied upon by the foreman, resulting in his injury?
- (3) Were the employee's actions the proximate cause of the foreman's injuries?

DISCUSSION

Summary

The telephone company is liable to the foreman for the telephone company employee's negligence if the employee was acting within the course and scope of his employment with the telephone company when he authorized the foreman to direct the crew to stretch the cable over the highway. Here the employee probably was. Even if the employee was acting outside the scope of his employment with the telephone company, the telephone company would be liable to the foreman if the foreman relied on statements or conduct by the employee that were within the employee's apparent authority. Although the type of harm the foreman suffered (burns) was different from the harm risked by the employee's actions (being stuck by the cable), the employee's actions are probably the proximate cause of the foreman's injuries.

Point One (35%)

The telephone company is liable for torts committed by its employee while acting within the course and scope of his employment with the telephone company. Because the employee was motivated by a desire to serve the telephone company, he was acting within the scope of his employment.

Under the doctrine of *respondeat superior*, employers are liable for the actions of an employee when the employee is acting within the scope of his employment. See RESTATEMENT (THIRD) OF AGENCY § 2.04.

Here, the employee had no express authority to authorize the raising of the cable. His only duty was to determine whether a cable was down and, if so, to assess the damage and report to the telephone company. However, the employee's unauthorized conduct may fall within the scope of his employment. See RESTATEMENT (THIRD) OF AGENCY § 7.07 cmt. c ("conduct is not outside the scope of employment merely because an employee disregards the employer's instructions"). Section 7.07 of the Restatement (Third) of Agency states that "[a]n employee acts within the scope of employment when performing work assigned by the employer or engaging in a course of conduct subject to the employer's control. An employee's act is not within the scope of employment when it occurs within an independent course of conduct not intended by the employee to serve any purpose of the employer."

Here, the employee's action (authorizing the raising of the cable) was motivated by a desire to protect the cable from further damage. Thus, the employee was clearly acting with the intent to serve the telephone company's purposes. The cable which ultimately caused the injury to the foreman was the property of the telephone company. The telephone company should have reasonably expected that when the employee arrived at the scene he would take necessary action to prevent further damage to its property if he were in a position to do so. Although it is not certain, the telephone company is probably liable to the foreman under the doctrine of *respondeat superior*.

Point Two (30%)

The telephone company could also be liable to the foreman under an apparent authority theory.

A principal will sometimes be liable for torts committed by its agents even if the conditions of *respondeat superior* liability (i.e., an employer/employee relationship and conduct within the scope of employment) are not satisfied.

For example, a principal can be liable if the principal was negligent or reckless in the selection of the agent. *See* RESTATEMENT (THIRD) OF AGENCY § 7.05(1). Nothing in the facts suggests that the telephone company was negligent in its hiring of the employee.

A principal can also be liable for an agent's torts if the principal has a special relationship with the injured person that imposed a special duty on the principal to take care to protect against the risk that the agent would harm the injured person. *See id.* § 7.05(2). Nothing on these facts suggests that the telephone company had any such special relationship with the foreman.

Finally, a principal is liable for a tort committed by an agent when the agent "appears to deal or communicate on behalf of [the] principal and the agent's appearance of authority enables the agent to commit [the] tort" *See* RESTATEMENT (THIRD) OF AGENCY § 7.08, cmt a. On the facts of this problem, the employee had apparent authority vis-à-vis the foreman. "Apparent authority . . . is created by a person's manifestation that another has authority to act with legal consequences for the person who makes the manifestation, where a third party reasonably believes the actor to be authorized and the belief is traceable to the manifestation." *Id.* § 3.03. An agent has apparent authority with respect to a third party *only* "when the third party reasonably believes that the agent . . . has authority to act on behalf of the principal." *Id.* § 7.08, cmt b. Here, the telephone company made manifestations to the foreman about the employee's authority when it sent its employee to the job site in a company vehicle. This would give the foreman a basis to believe that the employee was acting on the telephone company's behalf.

The principal is liable under an apparent authority theory only when the injured person's belief in the agent's authority "enables the agent to commit the tort." As noted, the employee arrived at the job site in the telephone company's vehicle. This was sufficient to create a reasonable belief that the employee was acting on behalf of the company on all matters relating to the fallen cable. As a result of this reasonable belief, the foreman, acting on the employee's authorization, raised the cable, creating the circumstances leading to his injury.

Thus, on an apparent authority theory the company could be liable assuming *respondeat superior* did not apply. *See* Point One.

Point Three (35%)

The employee's acts were probably the proximate cause of the foreman's injuries.

In a negligence action, a defendant is liable only if his conduct was the proximate cause of the plaintiff's injury. Here, it is likely that a court would find that the foreman's harm was proximately caused by the employee's negligence.

Even when a defendant is negligent, his conduct must have

“such an effect in producing the harm as to lead reasonable men to regard it as a cause, using that word in the popular sense, in which there always lurks the idea of responsibility, rather than in the so-called ‘philosophic sense,’ which includes every one of the great number of events without which any happening would not have occurred.”

RESTATEMENT (SECOND) OF TORTS § 431, cmt. a.

Intervening actors or events that produce harm different in kind from that which one would normally anticipate may break the chain of causation and lead a court to conclude that the defendant’s acts are not the proximate cause of the plaintiff’s injury. Thus, a plaintiff who negligently exceeds a speed limit and therefore happens to be on the spot where a tree falls during a violent windstorm may still recover for injuries caused by the tree (*see Berry v. Sugar Notch Borough*, 43 A. 240 (Pa. 1899)), and a defendant who negligently drops a passenger off at the wrong train station is not liable for the passenger’s burns caused by a malfunctioning kerosene lamp in the hotel where she is forced to stay for the night. *See Central Georgia Ry. Co. v. Price*, 32 S.E. 77 (Ga. 1898). In evaluating whether intervening acts break the chain of causation, courts typically analyze both their foreseeability and their degree of dependence on the defendant’s negligence. *See* RESTATEMENT (SECOND) OF TORTS § 431.

Here, it was entirely foreseeable that a vehicle would strike the raised cable, causing impact damage to cars and persons within the range of the cable’s fall; that is what made the employee’s conduct negligent. Given that the cable was stretched over a highway, it was also foreseeable that a car struck by a cable would go out of control and cause injuries to other vehicles or bystanders, and that is exactly what happened here: the driver lost control of the car, hitting another vehicle and thereby causing serious personal injury to a bystander, the foreman. Although the source of the foreman’s injuries (burns from hot asphalt) would not normally be anticipated from the fall of a cable, the foreman was within the zone of foreseeable risk and suffered injuries in the course of a foreseeable, reasonably direct chain of circumstances. A court is thus likely to find that the employee’s negligence was the proximate cause of the foreman’s injuries.

FAMILY LAW ANALYSIS

(Family Law II.B; IV.A.; VI.E.)

ANALYSIS

Legal Problems

- (1)(a) On what, if any, basis could a court enjoin the mother from making contributions from her future paychecks to the religious group?
- (1)(b) On what, if any, basis could a court order one parent to follow the child-rearing preferences of the other parent when both parents and their child are living together in an intact family?
- (1)(c) On what, if any, basis could a court order a parent to cooperate in ensuring that a child obtains medical treatments necessary to protect the child's health and life?
- (2) In a divorce action, could a court grant custody to one parent based on the other parent's religious practices when those practices pose risks to the child?

DISCUSSION

Summary

There is no basis for a court to order the mother to stop making contributions from her paychecks to the religious group. Because the mother and father live in a common-law jurisdiction in an intact household, the father has no management powers with respect to the mother's earnings. Although, in most states, the mother has a support obligation toward the father that would enable a creditor to recover from the mother the value of "necessaries" furnished to the father, the father may not personally obtain a court order requiring the mother to spend her earnings in a particular way, nor may a state child welfare agency.

Based on the family privacy doctrine, a court may not order one parent to follow the child-rearing preferences of the other parent when the parents live together with their child in an intact family. Thus, a court will not order the mother to take the daughter to skating lessons.

However, based on its neglect jurisdiction, a court could order a parent to take steps to preserve a child's health or safety, even when the parent's actions are religiously motivated. The proper party to initiate a child neglect action is the state, not a parent. Thus, a court could order the mother to follow the physician's medical recommendations and order appropriate services for the daughter if the mother refused to do so and the state's child welfare agency filed a neglect petition on the daughter's behalf.

Although a court may not deny a parent custody based on a parent's religious faith, it may deny custody based on a threat to the child's health or safety. Because failing to take asthma medications appears to be life-threatening, if the father were to file a divorce action against the mother, a court could award the father custody of his daughter if the mother persists in her refusal to provide the daughter with her asthma medication.

Point One(a) (30%)

There is no basis for a court to order the mother to stop making contributions from her paycheck to the religious group. Because the mother and father live in an intact household in a non-community-property state, the father has no management powers with respect to the mother's earnings. Although the mother has a support obligation toward the father that would enable a creditor to recover from the mother the value of "necessaries" furnished to the father, the father could not personally obtain a court order requiring the mother to spend her earnings in a particular way, nor could a state child welfare agency.

Under the common law, when a woman married, her identity was swallowed up in her husband's. As a result of this marital-unity doctrine, a married woman could not own property. Beginning in the mid-19th century, legislatures began to enact so-called "Married Women's Property Acts" that restored to the married woman the rights she had when unmarried, including the right to acquire, own, or transfer property. By the end of the 19th century, every state had passed such a statute.

Under the Married Women's Property Acts, title determines asset ownership and management rights; "[t]he wife is given the power to contract and full rights to her own earnings" HARRY D. KRAUSE AND DAVID D. MEYER, *FAMILY LAW IN A NUTSHELL* 99 (5th ed. 2007). Because each spouse has full management rights with respect to his or her earnings, a court may not overrule the spending decisions of a spouse based on his or her partner's conclusion that those decisions are ill-advised.

Marriage does, however, create support obligations and, since the Supreme Court's decision in *Orr v. Orr*, 440 U.S. 268 (1979), those obligations have been gender neutral. Based on this mutual support obligation, a creditor who has furnished "necessaries" to a husband or wife may, in most states, sue the spouse of the purchaser and recover on the debt. *See* KRAUSE AND MEYER, *supra*, at 94–95.

However, the necessities doctrine is available only to a *creditor* who has already provided goods or services. Such a creditor has no power to obtain an order altering a spouse's future spending. The doctrine does not go so far as to allow one spouse to enjoin expenditures by the other because, as here, he or she is concerned that the bills of the family won't get paid. Nor, because of the family privacy doctrine (*see* Point 2), may a spouse who disagrees with his partner's spending decisions obtain an order requiring a different spending pattern or obtain a support award.

A state child welfare agency may intervene in family decision making only when the decision at issue endangers the well-being of a child or another family member incapable of protecting his own interests. Here, there is no evidence that the mother's decision to donate a portion of her earnings to the religious group endangers her daughter. Thus, the state agency cannot obtain an order requiring the mother to alter her spending patterns any more than can the father.

Point One(b) (20%)

Because the mother and father are living with their daughter in an intact family and failure to take skating lessons does not endanger the daughter, a court may not require the mother to follow the father's preference with respect to continuing the daughter's skating lessons.

American courts have consistently treated the disputes of intact families as private matters that should be resolved at home. Thus, they have refused to decide such disputes when a spouse has brought one to court:

The inherent jurisdiction of courts of equity over infants is a matter of necessity, . . . assumed by the courts only when it is forfeited by a natural custodian incident to a broken home. . . . The judicial mind and conscience is repelled by the thought of disruption of the sacred marital relationship, and usually voices the hope that the breach may somehow be healed by mutual understanding between the parents themselves.

Kilgrow v. Kilgrow, 107 So. 2d 885, 888–89 (Ala. 1958); *see also McGuire v. McGuire*, 59 N.W.2d 336 (Neb. 1958). Even when the spouse who comes to court wishes to enforce a premarital agreement, courts have refused to intervene in the disputes of couples who are living together. *See Kilgrow, supra* (refusing to enforce provision of premarital agreement requiring child’s education at religious school).

Here, the mother and father are still living together with their daughter. Until and unless they separate, a court will not intervene in their dispute regarding the daughter’s skating lessons and issue an order supporting the views of either parent.

Again, the state child welfare agency may intervene in family decision making only when the decision at issue endangers the well-being of a child or another family member incapable of protecting his own interests. Here, because there is no evidence that the mother’s failure to continue skating lessons would endanger the daughter, the state agency cannot obtain an order requiring the mother to continue the lessons any more than can the father.

Point One(c) (30%)

Because failing to take asthma medications poses a serious risk to the daughter’s health and safety, if the mother’s actions prevent the daughter from receiving her prescribed medications, a court may find that the daughter is neglected and order the mother to give the daughter her medications.

Although courts will not intervene in disputes *between* parents in an intact household, the state, pursuant to its jurisdiction over child abuse and neglect, may obtain an order overruling a parental decision and ordering appropriate services, including medical care, whenever the parental child-rearing decisions endanger the child.

The fact that parental rights are constitutionally protected does not alter this result, even when the parental choice is religiously motivated: “the power of the parent, even when linked to a free exercise claim, may be subject to limitation . . . if it appears that parental decisions will jeopardize the health or safety of the child, or have a potential for significant social burdens.” *Wisconsin v. Yoder*, 406 U.S. 205, 234–35 (1972). *See also Petersen v. Rogers*, 433 S.E.2d 770, 775 (N.C. Ct. App. 1993) (although court may not inquire into parent’s general religious beliefs, it may inquire into “religious practices . . . if such practices may adversely affect the physical or mental health or safety of the child.”); Jay M. Zitter, Annot., *Power of Court or Other Public Agency to Order Medical Treatment Over Parental Religious Objections for Child Whose Life Is Not Immediately Endangered*, 21 A.L.R. 5th 248 (1994).

[NOTE: Here, a child-neglect action would most likely be triggered by the daughter’s physician, who is almost certainly a mandated neglect reporter under state law. However, the father could also file a neglect report. A neglect action is typically commenced after someone with knowledge of a situation that endangers the child files a report with the appropriate state agency. State laws typically require health care workers, among others, to report suspected abuse and neglect. After receiving a report, the agency investigates and files a neglect petition on the child’s behalf if its investigation confirms the allegations of neglect. If the court finds that a child

is neglected, it may order parents to undertake appropriate actions, order a state agency to provide the child with services in the home, or even remove the child from parental custody and place her in foster care.]

Point Two (20%)

Although a court may not deny a parent custody based on the parent's religious faith, it may deny custody based on a threat to the child's health or safety. Because failing to take asthma medications is life-threatening, a court could, in a divorce action filed by the father, award custody to the father if the court finds that the mother will persist in her refusal to provide the daughter with her medications.

A child custody contest between parents is decided on the basis of the child's best interests. Under the best interests test, the court is free to consider a wide range of factors.

With respect to parental religion, the Establishment Clause forbids a court to favor one religion over another. However, although "[t]he court cannot evaluate the religion, [it can] . . . instead evaluate[] the parent's ability to provide for the physical and mental health needs of the child." WALTER WADLINGTON & RAYMOND C. O'BRIEN, *FAMILY LAW IN PERSPECTIVE* 162 (2001). Because of the sensitivity of the constitutional issues at stake, courts have typically refused to consider religion unless the evidence shows that the parent's religious practice would imperil the child's well-being. *See id.* Some courts have additionally required that a custody order "make the least possible infringement upon the parent's liberty interests consistent with the child's well-being." *Osier v. Osier*, 410 A.2d 1027, 1030 (Me. 1980). *See also* Carl E. Schneider, *Religion and Child Custody*, 25 U. MICH. J. L. REFORM 879 (Spring/Summer 1992).

Here, the daughter's physician has said that failure to take asthma medications is life-threatening. Given that the daughter is only seven and needs parental supervision in order to ensure medication compliance, should the father file a divorce action, a court may thus deny the mother custody based on her refusal to administer the medications, and may award custody to the father.

EVIDENCE ANALYSIS

(Evidence V.A., B., D., F. & L.)

ANALYSIS

Legal Problems

- (1) Do the caller's statements to the police dispatcher fit a hearsay exception?
- (2) Would admission of the caller's statements to the police dispatcher violate the Confrontation Clause?
- (3) Do the sister's statements to the officer fit a hearsay exception?
- (4) Would admission of the sister's statements to the officer violate the Confrontation Clause?

DISCUSSION

Summary

The court should allow admission of the caller's out-of-court statements to the police dispatcher on the authenticated 911 recording because they fit the hearsay exceptions for "present sense impressions" and "excited utterances." The caller's statements may also fit the exception for "statements made for medical diagnosis or treatment."

Admission of these statements would not violate the Confrontation Clause of the Sixth Amendment to the United States Constitution. Although the caller is unavailable to testify and the boyfriend will have had no pretrial opportunity to cross-examine her, the caller's statements are not testimonial because the evidence demonstrates that the reasonable and objective primary purpose of both the caller and the police dispatcher was to address an ongoing emergency.

The sister's statements to the officer fit the hearsay exception for "excited utterances."

However, admission of the sister's statements through the testimony of the officer would violate the Confrontation Clause because the sister is unavailable to testify, the boyfriend will have had no opportunity to cross-examine her, and her statements *are* testimonial. The sister's statements are testimonial because the reasonable and objective primary purpose of the sister and the officer was *not* to address an ongoing emergency, but to establish past events potentially relevant to a later criminal prosecution of the boyfriend.

Point One (20%)

If offered to prove the truth of the matter asserted, that the boyfriend attacked the sister, the caller's statements to the police dispatcher are hearsay. However, her statements fit the hearsay exceptions for "present sense impressions" and "excited utterances," and probably fit the exception for statements made for purposes of medical diagnosis.

As an out-of-court statement offered to prove the truth of what the caller told the police dispatcher (*i.e.*, that her sister's boyfriend was "out of control," had thrown a broken beer bottle at her sister, and that her sister was bleeding), the caller's statements on the authenticated 911

recording are hearsay. However, the court should overrule defense counsel's hearsay objection because the caller's out-of-court statements fit two hearsay exceptions.

First, the caller's statements fit the hearsay exceptions for "present sense impressions." Pursuant to Rule 803(1), a present sense impression is "[a] statement describing or explaining an event or condition *made while or immediately after the declarant perceived it.*" FED. R. EVID. 803(1) (emphasis added). In this case, the caller described the events to the police dispatcher as they were happening.

Second, the caller's statements also fit the hearsay exception for "excited utterances," pursuant to Rule 803(2). An excited utterance is "[a] statement relating to a startling event or condition, made while the declarant was under the stress or excitement that it caused." FED. R. EVID. 803(2). Here, the caller telephoned 911 while she was watching her sister's boyfriend violently assault her sister. The caller's statements related to the startling event of the assault on her sister. Moreover, because the caller made the statements as she watched the assault, she would have been under the stress caused by the assault on her sister at the time her statements were made.

Third, some of the caller's statements probably also fit the hearsay exception for "statements made for medical diagnosis or treatment." Statements that fit this exception must have been "made for—and [] reasonably pertinent to—medical diagnosis or treatment; and describe[] medical history; past or present symptoms or sensations; their inception; or their general cause." FED. R. EVID. 803(4). Here, the police dispatcher asked specific questions about the sister's injuries and the caller stated that her sister had blood on her arm. Thus, this portion of the caller's statement was relevant to the sister's medical condition and the fact that she might need medical treatment.

[NOTE: The questions from the police dispatcher are not hearsay because they are not assertions.]

Point Two (25%)

The Confrontation Clause does not bar the admission of an out-of-court statement when the objective primary purpose of the interrogation was to address an ongoing emergency.

Even when, as here, an out-of-court statement falls within a hearsay exception, the Confrontation Clause of the Sixth Amendment of the United States Constitution will sometimes preclude the admission of the statement at trial. The Confrontation Clause gives a defendant in a criminal case the right to be confronted by the witnesses against him. U.S. CONST. AMEND. VI ("In all criminal prosecutions, the accused shall enjoy the right . . . to be confronted with the witnesses against him."). In *Crawford v. Washington*, 541 U.S. 36 (2004), the Supreme Court held that the admission of out-of-court "testimonial" statements violates a defendant's right to confrontation if the witness is unavailable to testify at trial and the defense has not had a prior opportunity to cross-examine the witness. *Id.* at 59. In this case, the caller is unavailable because the prosecutor's efforts to secure her appearance at trial have been unsuccessful, and the defense has not had a prior opportunity to cross-examine the caller.

Thus, the critical constitutional question is whether the caller's statements to the police dispatcher were "testimonial." After *Crawford*, many statements made to police officers in the course of an interrogation are testimonial. *Id.* at 52–53 ("interrogations by law enforcement officers fall squarely within that class [of testimonial statements]"). However, in *Davis v. Washington*, the Court clarified that when witnesses make statements to the police "under circumstances objectively indicating that the primary purpose of the interrogation is to enable police assistance to meet an ongoing emergency," these statements are not testimonial. *See Davis*

v. Washington, 547 U.S. 813, 822 (2006). More recently, in *Michigan v. Bryant*, 131 S.Ct. 1143 (2011), the Court elaborated on the “primary purpose of the interrogation” standard, noting that primary purpose should be determined using “a combined inquiry that accounts for both the declarant and the interrogator.” *Bryant*, 131 S.Ct. at 1160. The *Bryant* Court also specified that “[a]n assessment of whether an emergency that threatens the police and public is ongoing cannot narrowly focus on whether the threat solely to the first victim has been neutralized because the threat to first responders and to the public may continue,” *id.* at 1158, and that “the duration and scope of an emergency may depend in part on the type of weapon employed,” *id.*, and/or “[t]he medical condition of the victim,” *id.* at 1159.

Here, the caller telephoned the police for assistance while the boyfriend was assaulting the sister. The sister was injured and bleeding, and the boyfriend could have posed a threat to the caller and/or first responders. Thus, it is clear that the caller made statements to the police dispatcher while the emergency was ongoing. This conclusion is reinforced by the fact that the police dispatcher’s questions were aimed at addressing the ongoing emergency (i.e., the dispatcher attempted to ascertain the extent of the concurrent violence, the level of danger, the parties involved, and whether anybody was injured). Based on these facts, the caller and the police dispatcher both had a primary purpose of resolving the ongoing emergency created by the boyfriend’s violent physical assault of the sister. Thus, the caller’s statements were not testimonial and admission of these statements does not violate the Confrontation Clause. *See Bryant*, 131 S.Ct. at 1162; *Davis*, 547 U.S. at 827.

Point Three (25%)

The sister’s statements to the officer fall under the “excited utterance” exception to the hearsay rule.

The court should overrule defense counsel’s hearsay objection to admission of the sister’s statements to the officer. Testimony repeating the sister’s out-of-court statements would be hearsay because the prosecution is seeking to use the statements to prove the truth of the matter asserted by the sister (that the boyfriend had just attacked her). However, the sister’s statements would be admissible pursuant to the “excited utterance” exception to the hearsay rule. FED. R. EVID. 803(2). As discussed above in Point One, an excited utterance is “[a] statement relating to a startling event or condition made while the declarant was under the stress or excitement that it caused.” *Id.* Certainly the boyfriend’s violent attack was a startling event and the sister was clearly still “under the stress or excitement that it caused” when the officer arrived at her house five minutes later. The statements were made within minutes of the boyfriend’s violent conduct, the sister was in a highly emotional and agitated state (she was in tears when she spoke to the officer), and her statements related directly to the boyfriend’s attack, which was the event that caused her to be excited and upset.

[NOTE: The sister’s statements here do not fit the hearsay exception for statements made for the purpose of medical treatment, FED. R. EVID. 803(4), because she specifically declined the medical assistance offered by the officer.]

Point Four (30%)

The Confrontation Clause prohibits the use of the sister’s statements to the officer because they are testimonial. The objective primary purpose of this interrogation was *not* to address an ongoing emergency, but to establish past events potentially relevant to a later criminal prosecution.

The dispositive question is whether admission of this out-of-court statement would be precluded under the Confrontation Clause. As discussed above in Point Two, the Supreme Court defined testimonial out-of-court statements that require confrontation in *Crawford*, *Davis*, and *Bryant*. Unlike the caller's statements to the police dispatcher during the boyfriend's attack, the sister's statements to the officer were made when the emergency was over and described what the boyfriend had done *in the past*. Although just a short period of time had passed and the sister was clearly still upset about the boyfriend's attack, the boyfriend was now locked in the back of the police car and no longer posed any danger to the sister, the officer, or anyone else.

In 2006, in *Davis v. Washington*, the Supreme Court focused on the question of whether the primary purpose of each interrogation was to enable police assistance to meet an ongoing emergency. In 2011, the *Bryant* Court significantly elaborated on the operation of the standard in a range of contexts. The *Bryant* Court cautioned that "[a]n assessment of whether an emergency that threatens the police and public is ongoing cannot narrowly focus on whether the threat solely to the first victim has been neutralized because the threat to first responders and to the public may continue." *Bryant*, 131 S. Ct. at 1158.

Here, the facts indicate that the emergency was resolved by the time the sister made her statement. *See State v. Wright*, 726 N.W.2d 464, 476 (Minn. 2007) (finding no ongoing emergency after alleged assailant was placed in a police car). Under these circumstances, the primary purpose of the interrogation was not to resolve an ongoing emergency but to establish past events potentially relevant to a later criminal prosecution of the boyfriend. *See Davis*, 547 U.S. at 822. Because the sister's statements were testimonial, she is unavailable to testify at trial, and the boyfriend has had no opportunity to cross-examine her, the admission of the sister's statements through the trial testimony of the officer would violate the Confrontation Clause.

The facts specify that the prosecutor seeks to admit the caller's and the sister's statements to prove the attack (i.e., as substantive evidence). However, if either statement were admitted for a non-truth purpose (e.g., to prove the caller's or the sister's state of mind), it would not be barred by the Confrontation Clause.

NEGOTIABLE INSTRUMENTS ANALYSIS

(Negotiable Instruments IB.; II.; III.; IV.; V.; VI.)

ANALYSIS

Legal Problems

- (1) May a person in possession of a check on which the payee's indorsement has been forged recover from the drawer if the drawee refuses to pay the check?
- (2) Is a promise to pay to the order of bearer a fixed amount of money plus an interest rate determined by reference to an external standard a negotiable instrument and, thus, a note?
- (3) Must the maker of a note that is payable to bearer pay a person to whom the note has been transferred for value if the maker has defenses against the payment obligation of which the transferee had no notice?

DISCUSSION

Summary

If a check is dishonored, the drawer owes the amount of the check to a person entitled to enforce it. Because the check was stolen from the man and the man's indorsement was forged, the check-cashing business was not a "holder" of the check and was not entitled to enforce it. Thus, the friend, as drawer of the check, has no obligation to the check-cashing business.

The document that the robber sold to the investor was a negotiable note. Because the note was payable to bearer, the investor became a holder of the note when the investor gained possession of it. As a result, the investor is entitled to enforce the note. It can be enforced against the man because the man was the maker of the note. The investor is also a holder in due course and is therefore not subject to the man's defense of never having received the loan.

Point One (30%)

The obligation of the drawer of a check is that, upon dishonor of the check, the drawer will pay the amount of the check to a person entitled to enforce it. Because the check was payable to the man, who did not indorse it or transfer it, the check-cashing business will not qualify as a person entitled to enforce the check, and the friend has no obligation to pay it.

The friend was the drawer of the check. Upon dishonor of a check, the drawer is obligated to pay the amount of the check to a person entitled to enforce it. Thus, the check-cashing business has a legal right to recover from the friend only if the business is a person entitled to enforce the check. UCC § 3-414.

The check-cashing business would be entitled to enforce the check if it was a holder of the check, or if it was in possession of it and had the rights of a holder. UCC § 3-301.

A holder is a person in possession of a check that is payable to that person or to bearer. UCC § 1-201(b)(21)(A). Although the check-cashing business had possession of the check, the check was not payable to that business nor to bearer. As written, the check was payable to the order of the man. The man didn't sign the back of the check—his signature was forged by the robber. If the man had signed the back of the check, the signature would have qualified as an

indorsement in blank, which would have had the effect of converting the check to a bearer instrument. UCC § 3-205(b). Or the man could have indorsed the check to the check-cashing business, making it payable to that business. But the robber's forgery of the man's signature does not count as the man's signature. UCC § 3-403(a). As a result, the check is still payable to the order of the man and the check-cashing business cannot qualify as a holder of it.

The check-cashing business would also be entitled to enforce the check if it had "the rights of a holder." UCC § 3-301(ii). A person can obtain the "rights of a holder" by taking the check by "transfer" from a holder. UCC § 3-203(b). Here, the robber did transfer the check to the check-cashing business, *see* UCC § 3-203(a), but the robber was not a holder of the check, nor did the robber have rights of a holder that he could transfer to the check-cashing business. The robber was not a holder because the check was not payable to the robber. The robber did not have the "rights of a holder," i.e., the man's rights, because the man did not voluntarily deliver the check to the robber. *See* UCC § 3-203(a) ("transfer" of an instrument is a voluntary delivery for purpose of giving the transferee the right to enforce an instrument); the robber stole the check and did not become a holder or acquire the rights of a holder. Because the robber did not have the rights of a holder, the robber's delivery of the check to the check-cashing business did not transfer such rights to the business.

Accordingly, the check-cashing business is not a person entitled to enforce the check and the friend has no obligation to it.

[NOTE #1: Some examinees might mention that the check-cashing business could theoretically qualify as a person entitled to enforce a check if the business were a person who was entitled to enforce the check at the time when it was lost, stolen, or destroyed. UCC § 3-301(iii). But no facts support such an argument.]

[NOTE #2: Some examinees might also argue that the friend has no obligation to pay the check because it was not technically dishonored, given that it was never presented for payment by a person entitled to enforce it. This would be a correct analysis, *see* UCC §§ 3-502(b)(2) and 3-501(a), and an examinee who concludes that the friend has no obligation on the check because it was not dishonored should receive full credit.]

Point Two (30%)

The document signed by the man and given to the friend was a negotiable instrument because it was an unconditional promise to pay a fixed amount of money to bearer and contained no other promises or undertakings. The fact that the note bore interest at a rate requiring reference to an external source does not prevent it from qualifying as a negotiable instrument.

A negotiable instrument is an unconditional promise or order to pay a fixed amount of money, with or without interest, if it is payable to bearer or to order and does not state any other undertaking or instruction. UCC § 3-104(a). A "promise" is a written undertaking to pay money signed by the person undertaking to pay. UCC § 3-103(a)(12). Based on the facts presented, the man's undertaking clearly qualifies as a "promise." Since the promise was unconditional, it was payable to bearer, the amount of money was fixed in the promise, and the promise did not state any other undertakings or instructions, it qualifies as a negotiable instrument. A negotiable instrument that is a promise qualifies as a "note." UCC § 3-104(e).

The fact that determination of the amount of interest requires reference to the prime interest rate of First Bank does not mean that the promise is not for a fixed amount of money. Interest may be stated at a fixed or variable rate, and may require reference to information not contained in the instrument. UCC § 3-112(b).

Point Three (40%)

The investor was a holder of the note, so the man had an obligation to pay the investor the amount of the note when it was due. The investor qualified as a holder in due course, so the man's defense that he never received the amount of the loan could not be raised against the investor.

As maker of the note, the man had an obligation to pay the amount of the note when due to a person entitled to enforce it. UCC § 3-412. The investor was a holder of the note because the investor was in possession of it and it was payable to bearer. UCC § 1-201(b)(21). Accordingly, the investor qualified as a person entitled to enforce it. UCC § 3-301(i).

If the man's failure to receive the money from the friend would qualify, as a matter of contract law, as a defense to his obligation to repay a loan, he could raise that as a defense to his obligation to pay the investor on the note. But such a defense cannot be raised against a person who qualifies as a holder in due course. This is because a holder in due course is subject to no defenses except the so-called "real defenses" listed in UCC § 3-305(a)(1), none of which is applicable here. The man's defense that he failed to receive consideration for the note cannot be asserted against a holder in due course. UCC § 3-305(a)(2), comment 2 ("instruments issued without consideration or for which promised performance has not been given" can be enforced by a holder in due course).

On the facts of this problem, the investor meets all requirements to qualify as a holder in due course. As described above, the investor was a holder. The investor paid \$2,500 for the note, thus taking it for value. The facts state that the investor took the note in good faith and without notice of any claims, defenses, or defects affecting the note. UCC § 3-302(a). Thus, the investor was a holder in due course.

As a holder in due course, the investor is not subject to the man's defense on the note and has a legal right to recover the amount of the note from the man.

CORPORATIONS ANALYSIS

(Corporations I.D.; III.; V.D.2.; VI.B.; VIII.F.)

ANALYSIS

Legal Problems

- (1) Did Alice and Carla have any legal basis to object to Bob's co-ownership of the Metro Inn?
- (2) Is the designer entitled to hold Alice, Bob, and/or Carla personally liable to the designer
 - (a) because the winding up was improper, or
 - (b) because of the piercing-the-veil theory?

DISCUSSION

Summary

ABC is a limited liability company (LLC) governed by state LLC law and the terms of its operating agreement. Alice and Carla most likely do not have any legal basis to object to Bob's ownership interest in a competing business because of the express terms of ABC's operating agreement.

Alice, Bob, and Carla likely are personally liable to the designer for ABC's debt up to the amount each member received from the sale of ABC's assets because the attempted dissolution and winding up of ABC was improper. Alternatively, they may be personally liable to the designer on a piercing-the-veil theory because their siphoning of the proceeds from the sale of ABC's assets was inequitable, though not necessarily because the company's books failed to reflect Alice's payment of company debts.

Point One (30%)

Alice and Carla most likely do not have any legal basis to object to Bob's decision to own an interest in a competing business in light of the express terms of the ABC operating agreement.

ABC is a limited liability company (LLC). An LLC is a form of business association that combines many of the most attractive features of corporations and partnerships. Like corporations, an LLC generally provides its investors—called “members”—with limited liability for firm debts. Like general partnerships, LLCs provide members with considerable flexibility in developing rules for decision making and control. Because LLCs are a relatively new form of business association bearing many similarities to corporations and partnerships, courts often turn to either corporate or partnership law to analyze issues in the LLC context.

Here, the issue of whether Alice and Carla have any legal basis to object to Bob's ownership of an interest in a competing firm will turn on the duties and obligations that Bob owes to his fellow LLC members. Courts generally hold that members of an LLC, like partners in a general partnership, are in a “fiduciary relationship.” See *McConnell v. Hunt Sports Enterprises*, 725 N.E.2d 1193, 1214–16 (Ohio Ct. App. 1999). This fiduciary relationship is defined as a relationship in which members owe one another the duty of utmost trust and loyalty. *Id.* As a result, in an LLC, as in a general partnership, direct competition by members would

ordinarily be precluded as a violation of the duty of loyalty. *Id.*; see also ULLCA § 409(b)(3) (members have a duty to “refrain from competing with the company in the conduct of the company’s activities before the dissolution of the company”).

Although the question does not state that ABC’s 100-room luxury hotel project and the 200-room Metro Inn would compete, their similarity and proximity in the same town suggest that they would likely compete. Further, the fact that Alice and Carla are bothered by Bob’s interest in Metro Inn suggests that competition is a strong possibility.

However, here the LLC operating agreement expressly allows members to have an interest in a business that competes with the firm. Under most LLC statutes, members of an LLC can agree to restrict or limit the duty of loyalty, provided the opt-out is specified in the operating agreement. Thus, the operating agreement controls over the provisions of the statute. In this case, when they became members of ABC, Alice and Carla agreed to abide by the terms of the operating agreement, which expressly allow any member (i.e., Bob) to manage, own, and otherwise have an interest in a business that competes with the firm.

States differ slightly on how the opt-out must be structured in order to be effective. Some states, including Delaware, provide for total freedom of contract. See *Elf Atochem North America, Inc. v. Jaffari*, 727 A.2d 286 (Del. 1999) (applying Delaware LLC Act § 18-1101(b)). In these states, the terms of the operating agreement govern, unless they conflict with a mandatory statutory provision designed to protect third parties. *Id.* at 292. Since Bob’s interest in Metro Inn involves only the relationship between the contracting members—Alice, Bob, and Carla—this exception is not implicated.

However, most states that permit opt-outs of the duty of loyalty follow the general approach set forth in the Uniform Limited Liability Company Act (2006). According to ULLCA § 110(d)(1)(C), “If not manifestly unreasonable, the operating agreement may . . . restrict or eliminate the duty . . . to refrain from competing with the company in the conduct of the company’s business before the dissolution of the company.” In addition, so long as it is not “manifestly unreasonable,” the operating agreement may also “identify specific types or categories of activities that do not violate the duty of loyalty.” *Id.* § 110(d)(2).

In this case, the operating agreement is not a general waiver of the duty of loyalty, but specifies the activities that do not violate the duty, namely “managing, owning, or otherwise having an interest” in any competing business. Further, most courts would likely find this provision not “manifestly unreasonable.” See *McConnell*, 725 N.E.2d at 1193.

Whether the provision is “manifestly unreasonable” is a question of fact. Nonetheless, assuming that Alice and Carla each had notice of the provision when they signed the operating agreement, it will be difficult for them to claim surprise. The provision clearly allowed each member to manage, own, or otherwise have an interest in a competing business. This type of provision, which is typical in commercial real estate deals, appears reasonable. Many investors will likely want to be free to invest and exercise ownership rights in other similar real estate ventures in the same area or town.

Point Two(a) (35%)

The designer may be able to hold Alice, Bob, and Carla proportionately liable, up to the amount of the proceeds each received in dissolution, for ABC’s debt to the designer because the winding up of ABC following dissolution was improper.

Like a corporation, the LLC provides limited liability for its members. ULLCA § 304(a). This means that members of an LLC may not generally be held personally liable for the debts of the firm. The general rule, however, does not apply in a few situations, including when (1) the

proper procedures for dissolution and winding up have not been followed, and (2) a court decides to “pierce the LLC veil.”

Here, the designer may be able to hold Alice, Bob, and Carla liable for ABC’s debts on the ground that the winding up of ABC was improper. In the absence of a contrary agreement or court order, dissolution of an LLC requires consent of all the members. ULLCA § 701(a)(2). In this case, the requirement of unanimous consent has been met since Bob gave his consent to Carla and Alice selling all of ABC’s assets and property. Although ABC was properly dissolved by the unanimous consent of the three members, *see id.*, the problem was that the winding up process was flawed.

After dissolution, as part of the winding up process, the LLC must provide notice of the dissolution to creditors so that they can make claims against the dissolving entity. ULLCA §§ 702(b)(1), 703 (notice procedure for “known claims”); *see also New Horizons Supply Cooperative v. Haack*, No. 98-1865, 1999 WL 33499 (Wis. Ct. App. Jan. 28, 1999); LARRY E. RIBSTEIN & ROBERT R. KEATINGE ON LIMITED LIABILITY COMPANIES § 11.6 (2d ed. 2004). The notice sent to creditors must outline the steps that are necessary for enforcing their claims. ULLCA § 703(b). Here, it is clear from Carla’s statement that the designer’s claim was known at the time of dissolution and that ABC did not provide sufficient notice to the designer of the dissolution.

When such procedures have not been followed, and if the LLC’s assets have been liquidated and distributed to the members, then a creditor’s claim against the LLC may be enforced against each of the LLC members to the extent of the member’s proportionate share of the claim or to the extent of the assets of the LLC distributed to the member in liquidation, whichever is less. ULLCA § 704(d)(2). However, a member’s total liability for creditor claims may not exceed the total value of assets distributed to the member in dissolution. *Id.*

While the facts state that no articles of dissolution were filed with the state, the filing of such notice is not required for a proper dissolution of an LLC. *See* ULLCA § 702(b)(2)(A). As a result, the designer can recover proportionately from Alice, Bob, and Carla personally for ABC’s debt up to the amount that each member received in the improper winding up after dissolution.

Point Two(b) (35%)

The designer may be able to hold Alice, Bob, and Carla jointly and severally liable for the debt it is owed from ABC on a “piercing the LLC veil” theory.

As an alternative basis for holding Alice, Bob, and Carla personally liable for ABC’s debts, the designer could pursue a claim for piercing the LLC veil. Piercing the veil in the LLC context is a common-law equitable doctrine that prevents members from hiding behind the veil of limited liability in situations where they have improperly used the LLC form. *See Kaycee Land and Livestock v. Flahive*, 46 P.3d 323 (Wy. 2002). To pierce the LLC veil, courts generally apply the same analysis and factors as in cases where a third party attempts to pierce the *corporate* veil and hold shareholders of a corporation personally liable for firm debts. This requires analyzing whether members have treated the LLC as a separate entity or whether it has instead become the “alter ego” of the members. If the latter is true, members will not be permitted to “enjoy immunity from individual liability for the LLC’s acts that cause damage to third parties.” *Id.* at 327. Each member for whom the veil is pierced becomes subject to joint and several liability to the creditor bringing the claim.

Among the factors that courts have used under the alter ego doctrine in the corporate context is whether the “dominant shareholder siphoned corporate funds,” a factor also used in the LLC context. *See Wilson v. Thorn Energy, LLC*, 787 F. Supp. 2d 286, 295 (S.D.N.Y. 2011). In

arguing for piercing the LLC veil, the designer will likely assert that the three members of ABC improperly distributed to themselves the proceeds of the asset sale, thus disregarding the separateness of firm and personal finances. The use of business funds for personal use is a frequent factor for piercing in both the corporate and LLC contexts.

Alice, Bob, and Carla, all of whom received the proceeds of the asset sale when ABC was liquidated, will have a difficult time arguing that this distribution was not inequitable. Although they did not misrepresent ABC's weak financial situation to the designer, their siphoning of assets would seem to be conclusive. *See* Comment to ULLCA § 304(b) ("key piercing factor" is the disregard of LLC's "economic separateness" from its owners, such as when owner "writes checks on the company's account for personal expenses"). In fact, in the corporate context when courts determine that business assets have been intermingled and used for personal use, piercing follows in about 85 percent of the cases. *See* Robert B. Thompson, *Piercing the Corporate Veil: An Empirical Study*, 76 CORNELL L. REV. 1036, 1063 (1991).

In addition, courts have identified the intermingling of personal and business funds as a factor for piercing in the corporate context, as well as in the LLC context. *See Sea-Land Services, Inc. v. Pepper Source*, 941 F.2d 519 (7th Cir. 1991). The designer might point to Alice's use of personal funds to pay the concrete supplier and other creditors of ABC, expecting that ABC would later reimburse her. The designer might further assert that Carla and Alice engaged in "fraud" by altering ABC's financial statements to cover up Alice's personal payments, as further justification for piercing the LLC veil on equitable grounds.

Nonetheless, Alice, Bob, and Carla may be able to argue that the failure to follow corporate formalities in the accounting of Alice's "advances of funds" to the LLC (that is, her undisclosed payment of firm debts, subject to later reimbursement) is not enough to pierce the veil. The LLC statutes in most states, including those that follow the Uniform Limited Liability Company Act, provide that "the failure of a limited liability company to observe any particular formalities relating to . . . management of its activities" is not a proper ground for imposing personal liability on members for debts of the firm. *See* ULLCA § 304(b). Moreover, because Alice and Carla were trying to keep the business afloat during difficult financial times, Alice's undisclosed advances of funds did not harm the firm's creditors, but actually worked to their advantage. In this sense, Alice's payments could be equated to additional capital contributions to the firm, not the improper siphoning of assets. Thus, taken alone, the off-the-books advances by Alice to ABC might not be sufficient to justify piercing, but this does not "cleanse" the inequitable nature of the distribution of proceeds to the three members when ABC was dissolved while the firm's debts remained unpaid.

[NOTE: The question specifically asks whether Alice, Bob, and Carla are "personally" liable to the designer and not whether the three might be liable to the LLC as members who consented to an improper distribution by the LLC—that is, a distribution that rendered the company unable to pay its debts as they became due. *See* ULLCA § 406(a) (imposing liability on members in a member-managed LLC who consent to an improper distribution, as defined in ULLCA § 405).]

[NOTE: California, Idaho, Iowa, Nebraska, Utah, and Wyoming have enacted the 2006 act. (Kansas and Minnesota are considering doing so.)]

CONTRACTS ANALYSIS

(Contracts I.A.1.; II.G.)

ANALYSIS

Legal Problems

- (1) Is there a contract between the manufacturer and the chef for the purchase and sale of 10 knives?
- (2) Is enforceability of the contract between the manufacturer and the chef subject to the statute of frauds?
- (3) Does the document sent by the manufacturer to the chef satisfy the applicable statute of frauds?
- (4) Is the chef's handwritten note to the manufacturer a "record in confirmation" of the contract sufficient to satisfy the statute of frauds?
- (5) Does the manufacturer's shipment of 6 knives and the chef's acceptance of those 6 knives establish the existence of a contract sufficiently to allow its enforcement as to all 10 knives?

DISCUSSION

Summary

The manufacturer and the chef clearly entered into a contract pursuant to which the manufacturer agreed to sell 10 knives to the chef for \$1,000. Because it is a contract for the sale of goods, the contract is governed by Article 2 of the Uniform Commercial Code. Even though the contract exists, a contract for the sale of goods for a price of \$500 or more is not enforceable against a party unless there is a writing sufficient to indicate that a contract has been made that is signed by that party (or unless an exception applies).

Here, the contract price is more than \$500, so a writing signed by the manufacturer is required in order to enforce the contract against it unless an exception applies. The document included with the knives is a writing sufficient to indicate that a contract has been made, but it is not clear whether that writing has been "signed" by the manufacturer. If the document constitutes a writing signed by the manufacturer, the contract is enforceable against the manufacturer for only six knives—the quantity mentioned in that writing—and not for the remaining four knives. Even if the document does not constitute a writing signed by the manufacturer, the fact that the manufacturer delivered, and the chef paid for, six knives would make the contract enforceable for the six knives but not the remaining four knives.

Point One (20%)

The manufacturer and the chef entered into a contract at the trade show when they agreed that the chef would buy 10 knives from the manufacturer for \$100 each.

Because the knives are goods (*see* UCC § 2-105(1)), the situation presented by these facts is governed by Article 2 of the Uniform Commercial Code. UCC § 2-204(1) provides that “[a] contract for sale of goods may be made in any manner sufficient to show agreement, including conduct by both parties which recognizes the existence of such a contract.” The conversation between the manufacturer and the chef clearly shows an agreement pursuant to which the manufacturer would sell, and the chef would buy, 10 knives at \$100 each. Thus, UCC § 2-204 is satisfied and there is a contract for the chef to buy 10 knives from the manufacturer.

Point Two (15%)

The contract between the manufacturer and the chef is a contract for the sale of goods for a price of \$500 or more and therefore is subject to the statute of frauds in Article 2 of the Uniform Commercial Code.

UCC § 2-201(1) provides that “a contract for the sale of goods for the price of \$500 or more is not enforceable by way of action or defense unless there is some writing sufficient to indicate that a contract for sale has been made between the parties and signed by the party against whom enforcement is sought” Here, the contract between the manufacturer and the chef was for the sale of goods (the knives) for a price of \$1,000. Therefore, it is subject to the writing requirement of UCC § 2-201(1) unless an exception applies.

Point Three (25%)

The document enclosed in the shipping box with the knives is sufficient to indicate that a contract has been made, but it is not clear that it has been “signed” by the manufacturer—the party against whom enforcement is sought. If it is a sufficient writing, it makes the contract enforceable, but only to the quantity of goods stated in the writing: six knives.

UCC § 2-201(1) requires that, for a contract within its scope to be enforceable, there be a writing sufficient to indicate that a contract for sale has been made that is signed by the party against whom enforcement is sought. The facts indicate that the document enclosed with the six knives that were shipped to the chef stated in its entirety: “It is a pleasure to do business with you. Enclosed, pursuant to our agreement, are six knives. Please remit the balance due of \$600 at your earliest convenience.” This document is a writing. *See* UCC § 1-201(b)(43). Further, its contents clearly indicate that a contract for sale has been made: it states that the knives are enclosed “pursuant to our agreement” and expresses “pleasure to do business with” the chef.

In order for the contract to be enforceable against the manufacturer under UCC § 2-201(1), the document must be “signed” by the manufacturer. The facts do not state that the document bore a signature (in the conventional sense of that term) of the manufacturer, but they do state that the document was on the manufacturer’s letterhead. As the term “signed” is used in § 2-201(1), the meaning is broader than simply bearing a conventional signature. “‘Signed’ includes using any symbol executed or adopted with present intention to adopt or accept a writing.” UCC § 1-201(39). The Official Comment to UCC § 1-201 states that “in appropriate cases [the symbol] may be found in a billhead or letterhead.” Accordingly, some cases have held that a document on company letterhead can constitute a signed writing as long as the requisite intent is present. *See, e.g., Automotive Spares Corp. v. Archer Bearings Co.*, 382 F. Supp. 513 (N.D. Ill. 1974). Thus, it is possible, but not certain, that the requirement of a signed writing is satisfied by the document, depending on whether the letterhead was used “with a present intention to adopt or accept” the document.

Although the writing referred to in UCC § 2-201(1) need not contain detailed information about the contract, “the contract is not enforceable . . . beyond the quantity of goods shown in such writing.” Here, the document included by the manufacturer with the knives that were shipped showed a quantity of only 6 knives. Accordingly, even if the document qualifies as a writing signed by the manufacturer, the document is not sufficient to make the contract enforceable beyond 6 knives. Thus, this writing alone does not provide a basis for the chef to enforce the manufacturer’s obligation to ship the remaining 4 knives pursuant to the oral agreement for a sale of 10 knives.

[NOTE: Some examinees may mention that the manufacturer’s shipment of only 6 knives (when 10 knives were ordered) violates the perfect tender rule and that the chef could have rejected those knives. That is true, but irrelevant. The chef was entitled to accept a less than perfect tender, and such acceptance will not preclude the chef from enforcing the contract for the full amount—if the chef can overcome the statute of frauds problem.]

Point Four (20%)

The chef’s note is arguably a letter of confirmation of a contract for the sale of 10 knives. If it is, then it satisfies the statute of frauds because the manufacturer failed to object to it within 10 days. However, because the note was unsigned, it is unlikely to be given this effect.

The statute of frauds can be satisfied in a contract between merchants if the party seeking enforcement of the contract has sent the other party a confirmation of the contract that would itself satisfy the statute of frauds against the enforcing party. In other words, if the chef sends a written contract confirmation to the manufacturer that would bind the chef, the confirmation will also bind the manufacturer if the manufacturer does not object to it promptly (i.e., within 10 days). *See* UCC § 2-201(2).

Here, both the chef and the manufacturer are merchants. The manufacturer deals in goods of the kind at issue, and the chef’s occupation is such that he would have “knowledge or skills peculiar to the . . . goods involved in the transaction” (restaurant-quality carving knives). *See* UCC § 2-104(1).

However, in all likelihood, no confirmation that would satisfy the statute of frauds was sent by the chef on these facts. Although the chef sent a note to the manufacturer requesting the remaining four knives, that note must have been signed in order to satisfy the statute of frauds. While the note was handwritten and accompanied by a signed check, the note itself was not “signed” by the chef as that term is defined in UCC § 1-201(39). It did not contain any “symbol executed or adopted with present intention to authenticate” the writing. A creative examinee might argue that the chef’s decision to handwrite the note indicates an intent to authenticate by using handwriting alone, but the UCC definition of “signed” seems clearly to contemplate some authenticating symbol in addition to the content of the writing itself.

Point Five (20%)

The chef’s acceptance and payment for six knives eliminates the statute-of-fraud problem as to those six knives, but does not make the contract enforceable as to the remaining four knives.

A contract that does not satisfy the statute of frauds is nonetheless enforceable as to “goods for which payment has been made and accepted or which have been received and accepted.” *See* UCC § 2-201(3)(c). In this case, however, payment has been made for only six knives, and only six knives have been received and accepted. Thus, this exception would not enable enforcement of the contract for the remaining four knives but, rather, only for the six knives already delivered.

[NOTE: There are other exceptions to the statute of frauds that are not at issue on these facts, but that might be discussed by some examinees. One of those exceptions applies if the goods are specially manufactured for the buyer and are not suitable for sale to others. *See* UCC § 2-201(3)(a). Here, there is no indication that the knives are specially manufactured.

Another exception applies if the party against whom enforcement is sought admits in pleading, testimony, or otherwise in court that a contract was made. *See* UCC § 2-201(3)(b). Here, there is no indication of such admission by the manufacturer.

Some examinees may also note that the Uniform Electronic Transactions Act (UETA) and/or the federal Electronic Signature in Global and National Commerce Act (E-SIGN) allow the writing requirement of UCC § 2-201 to be satisfied by an electronic communication. This is true, but it does not change the answer or the analysis, as there is no electronic communication that would satisfy the requirements of UCC § 2-201.]

REAL PROPERTY ANALYSIS

(Real Property III.B.4. & F.; IV.A.1. & C.1.; V.B.1.)

ANALYSIS

Legal Problems

- (1)(a) Is there an implied warranty against latent defects in a newly constructed home?
- (1)(b) Does an implied warranty against latent defects protect a remote grantee?
- (2) Is a buyer who purchases real property from a mortgagor personally liable on the mortgage debt even if the buyer has not expressly assumed the mortgage obligation?
- (3) What are the obligations of a grantor who has conveyed title to real property with a quitclaim deed?

DISCUSSION

Summary

Although under the common law, there were no implied warranties in the sale of a home, this caveat emptor approach has been abandoned with respect to builders of new homes who impliedly warrant that the home is free of latent defects. However, courts are divided as to whether this implied warranty runs to remote grantees who are not in privity with the home builder. Some courts require privity; others do not, reasoning that harm to a remote grantee is foreseeable.

A purchaser of real estate from a mortgagor has no liability on the mortgage obligation unless he expressly or impliedly assumes that obligation. Here, the man did not expressly assume the woman's mortgage obligation, but it is unclear if he impliedly assumed it. If the bank successfully forecloses on the man's house, he has no right to recover his loss from the woman because he took under a quitclaim, not a warranty, deed.

Point One(a) (25%)

Because there is an implied warranty against latent defects in the sale of a new home running from the builder to the buyer, the builder would be liable to the woman, the original buyer, for damages caused by the defective concrete.

Under the doctrine of caveat emptor, a home builder makes no implied warranties regarding the condition of the premises. *See generally* HERBERT HOVENKAMP & SHELDON F. KURTZ, *The Law of Property* 534 (6th ed. 2005). Today, however, American courts have largely rejected the caveat emptor approach. This rejection is based on the view that a home buyer does not stand on an "equal footing" with the builder and relies upon the builder's skill and integrity, as well as the fact that ordinary home buyers are not in a position to discover latent defects. *See, e.g., Petersen v. Hubschman Construction Co.*, 389 N.E.2d 1154 (Ill. 1979); *Terlinde v. Neely*, 271 S.E.2d 768, 769 (S.C. 1980). Although courts have variously described the home builder's warranty as an implied warranty against latent defects, an implied warranty of fitness, or an implied warranty of habitability, it is now recognized in almost all states, and it extends to latent defects such as

faulty concrete. *See generally* Sheed, *The Implied Warranty of Habitability, New Implications, New Applications*, 8 REAL ESTATE L.J. 281 (1980).

Although the implied warranty is typically called an implied warranty of *habitability*, in most states it is not necessary for the man to prove that the house would have been uninhabitable but for his repair. It is enough that the defect is major, given its nature and the dollar value of the problem. In this respect, the content of the implied warranty of habitability for the sale of new homes closely resembles the Uniform Commercial Code implied warranty of merchantability that arises upon the sale of goods by a merchant. Indeed, some of the courts that first developed the warranty of habitability patterned it after the UCC warranty.

Thus, under the law of most states today, the builder would be liable for damages to the woman, the original buyer, for losses caused by the defective concrete.

Point One(b) (25%)

In many, but not all, jurisdictions the home builder's warranty against latent defects extends to a remote grantee like the man.

Not all courts have extended the implied warranty of latent defects to remote grantees. Courts that apply a privity bar have typically done so on the ground that the warranty is contractual in nature and thus should only run in favor of parties in privity with each other. *See Sensenbrenner v. Rust, Orling, & Neale, Architects, Inc.*, 374 S.E.2d 55 (Va. 1988). Other courts, perhaps influenced by the foreseeability standards of tort law, but also relying on the equal vulnerability of both initial and remote grantees, have extended the warranty to subsequent purchasers. For example, in *Redarowicz v. Ohlendorf*, 441 N.E.2d 324 (Ill. 1982), the Illinois Supreme Court stated:

The warranty of habitability is a creature of public policy. It is a judicial innovation that has evolved to protect purchasers of new houses upon discovery of latent defects in their homes. While the warranty of habitability has roots in the execution of the contract for sale, we emphasize that it exists independently. Privity of contract is not required. Like the initial purchaser, the subsequent purchaser has little opportunity to inspect the construction methods used in building the home. Like the initial purchaser, the subsequent purchaser is usually not knowledgeable in construction practices and must, to a substantial degree, rely upon the expertise of the person who built the home. If construction of a new house is defective, its repair costs should be borne by the responsible builder-vendor who created the latent defect. The compelling public policies underlying the implied warranty of habitability should not be frustrated because of the short intervening ownership of the first purchaser; in these circumstances the implied warranty of habitability survives a change of hands in the ownership.

441 N.E.2d at 330 (internal citations omitted). A similar approach has been adopted in Iowa. *See Speight v. Walters Development Co., Ltd.*, 744 N.W.2d 108 (Iowa 2008).

Whether the man, as a remote grantee, is protected by the warranty running from the builder to the woman depends upon which approach governs.

Point Two (35%)

In most, but not all, jurisdictions the man is not liable on the woman's mortgage obligation because he did not expressly assume that mortgage obligation. In some jurisdictions, the man could be held liable on the woman's mortgage obligation on the theory that he implicitly assumed this obligation.

Because the woman's mortgage obligation to the bank was recorded, the man took the home subject to the mortgage, and the bank's interest had priority over the man's. Because the bank has priority, it can foreclose on the home if the mortgage is in default. However, the recording of a mortgage does not make the mortgagor's grantee personally liable for the mortgagor's obligation.

The predominant rule in the United States is that if a remote grantee takes subject to a mortgage which the grantee does not assume, the remote grantee is not personally liable on the debt. *See* GRANT S. NELSON & DALE A. WHITMAN, *REAL ESTATE FINANCE LAW* 273–74 (5th ed. 2007). Of course, that does not mean that the remote grantee will not want to voluntarily make payments on the mortgage in order to prevent the mortgagee from foreclosing on the debt. But it does mean that if the mortgagee forecloses on the property, it cannot hold the remote grantee personally liable on the debt or liable for any deficiency resulting from a mortgage foreclosure. Following this approach, the man would be personally liable on the woman's mortgage obligation if the man assumed (i.e., made a commitment to pay) the mortgage. There is no evidence of an express assumption agreement here. The deed from the woman to the man made no mention of the woman's mortgage, and the facts do not describe any express agreement.

In some jurisdictions, a remote grantee who did not expressly assume a mortgage may be deemed to have *impliedly* assumed it where, as here, the remote grantee paid the seller only the difference between what the house was worth and the outstanding balance on the mortgage obligation. The rationale for this approach is that “[the grantee’s] retention of the vendor’s money for the payment of the mortgage imposes upon him the duty of protecting the vendor against the mortgage debt. This must be so . . . for it would seem to be almost intolerably unjust to permit him to keep back the . . . [money he would have otherwise paid the vendor to purchase the property].” *Heid v. Vreeland*, 30 N.J. Eq. 591, 591 (1879). States that follow this approach include Connecticut, Illinois, Iowa, Maryland, Michigan, Oklahoma, and South Carolina. *See generally* NELSON & WHITMAN, *supra*, 285.

Here, the man was clearly aware of the mortgage; the mortgage was recorded, and the man paid the woman only \$160,000, considerably less than the house was worth (\$360,000). Moreover, the man began making mortgage payments immediately after buying the house and continued making payments to the bank for a year.

Thus, in a jurisdiction that follows the implied assumption approach, the man may be liable to the bank. In a jurisdiction that requires express assumption of a mortgage obligation, the man would not be liable because there is no evidence that he expressly assumed the mortgage.

[NOTE: If the man is deemed to have impliedly assumed the mortgage, then the woman is merely a surety and would be liable for any deficiency not paid by the man. *See* RESTATEMENT (THIRD) OF SURETYSHIP AND GUARANTY § 1, illustration 29 (1996).]

Point Three (15%)

If the bank successfully forecloses on the man's home, he cannot recover his loss from the woman because she gave the man a quitclaim deed and quitclaim deeds contain no warranties of title on which a buyer can sue.

If a seller conveys land on which there is an unsatisfied encumbrance such as a mortgage, and that encumbrance has priority against the buyer, the seller is liable to the buyer for any loss borne by the buyer only if the seller warranted that there was no such encumbrance against the property. Had the woman conveyed the land to the man by a warranty deed, that deed would have impliedly included a covenant against encumbrances, and the woman would have been liable to the man for a breach of this covenant.

Here, however, the woman conveyed the home to the man by a quitclaim deed. A quitclaim deed contains no warranties of title, and the buyer taking under a quitclaim deed has no claim against the seller for damages resulting from encumbrances against the property having a priority over the buyer's interest. Here the bank has priority over the man's interest because its mortgage was recorded prior to the quitclaim deed to the man, and thus the man had notice of the mortgage from the record. The man also had actual notice of the mortgage as evidenced by his making of mortgage payments to the bank. *See WILLIAM B. STOEBUCK & DALE A. WHITMAN, The Law of Property* 905, 908–09 (3d ed. 2000). Thus, the man is not entitled to any damages from the woman for the loss he sustained as a result of the foreclosure.

[NOTE: If the examinee concludes that the man is liable for any deficiency (*see* Point Two), the man would have a claim against the woman to recover that deficiency on the ground that he was her surety to guarantee payment of the deficiency.]

DECEDENTS' ESTATES ANALYSIS

(Decedents' Estates II.F.2., I.12. & L.; III.A.)

ANALYSIS

Legal Problems

(1)(a) Is Mary barred from taking under John's will because she and John signed a prenuptial agreement?

(1)(b) Is Mary barred from taking under John's will because, at the time of John's death, there was a divorce action pending between them?

(1)(c) Under John's will, is John's biological, but adopted-out, child entitled to take a share of John's estate?

(2) Who should be appointed as the personal representative of John's estate?

DISCUSSION

Summary

At least three-fourths of John's estate should be distributed to Mary. A prenuptial agreement waiving a share of a spouse's estate does not bar a surviving spouse from taking a bequest that was voluntarily made after the agreement was signed, and a pending divorce does not revoke a testamentary disposition in favor of a spouse. In states that have adopted Uniform Probate Code § 2-119(c) or a like statute, Son is entitled to one-quarter of John's estate. In other states, it is unclear whether one-quarter of John's estate should be distributed to Son; in these states, the court will construe John's intent, and there are arguments for and against the claim that John intended Son to take under his will. The court will appoint Mary as the personal representative of John's estate because a surviving spouse has first priority to serve in this capacity. Son may not be appointed personal representative of the estate because Son is a minor.

Point One(a) (25%)

A prenuptial agreement waiving rights that a spouse might otherwise assert against the estate of the other does not preclude a surviving spouse from taking a bequest voluntarily devised to the surviving spouse by a deceased spouse. Thus, Mary is not precluded from taking a share of John's estate by the prenuptial agreement that she signed.

A prenuptial agreement in which spouses waive rights to a share of each other's assets upon death or divorce does not bar either party from making subsequent gifts or bequests to the other spouse. *In re Estate of Geyer*, 533 A.2d 423, 427 (Pa. 1987); *In re Hillegass' Estate*, 244 A.2d 672 (Pa. 1968); L.S. Tellier, *Spouse's Right to Take Under Other Spouse's Will as Affected by Antenuptial or Postnuptial Agreement or Property Settlement*, 53 A.L.R. 2d 475 (1957). Such an agreement bars only claims that do not arise from a voluntary gift or bequest. Thus, the prenuptial agreement signed by John and Mary does not bar Mary from taking a share of John's estate under his will.

Point One(b) (25%)

Although divorce bars a former spouse from taking a bequest under a will executed prior to the divorce, the filing of a divorce action does not. Thus, Mary is entitled to take under John's will notwithstanding the pendency of a divorce action at the time of his death.

A bequest may be revoked by operation of law when a change in circumstance occurs that makes it unlikely that the testator would have wanted a beneficiary named in the will to take under the will. All states provide that if, after the execution of a decedent's will, the decedent is divorced, a bequest in favor of the decedent's former spouse is revoked by operation of law. *See* UNIF. PROBATE CODE § 2-804. However, the typical statute does not apply if a divorce proceeding is *pending* when one of the spouses dies. This approach derives from the fact that, until the divorce is finalized, no property division order will be entered; thus the moral and legal claims of each spouse in the property of the other have not yet been satisfied.

Point One(c) (35%)

In most states, Son will be entitled to a share of John's estate only if the court concludes that John intended to include an adopted-out child in the bequest to "my children who survive me." However, John's adopted-out child, Son, is entitled to a share of John's estate under UPC § 2-119(c) or a like statute.

Under the terms of John's will, one-fourth of John's estate is distributable to John's "children who survive me." Son is a biological child of John who survived John. However, John consented to Son's adoption by Aunt, and an adoption typically severs the parent-child relationship between the child and his biological parents. *See* UNIF. PROBATE CODE § 2-119(a). A few states do not sever the parent-child relationship when the child is adopted by a relative of a biological parent. *See, e.g.,* 755 ILL. COMP STAT. 5/2-4(d)(1); UNIF. PROBATE CODE § 2-119(c) (2008) (adopted in North Dakota and Utah). In these states, Son would take under John's will.

In most states, Son would take only if the court concluded that John, when using the words "my children" in his will, intended to include an adopted-out child. The evidence on this question is far from determinative. On the one hand, John gave Son up for adoption to a relative, Aunt, and he took Son into his own home after Aunt's death. John also told Mary that he was Son's father, and he did so after the will was executed. On the other hand, there is no evidence that John attempted to formalize his relationship with Son. It is thus unclear whether Son would take a share of John's estate.

Point Two (15%)

Mary will be appointed personal representative of John's estate.

An individual named as personal representative in a decedent's will has priority to receive letters testamentary from the court overseeing the administration of the estate. *See* UNIF. PROBATE CODE § 3-203(a)(1). Where, however, the will is silent regarding the appointment of the personal representative, the court will appoint a person granted priority under the governing statute if that person is otherwise qualified. Typically, the decedent's surviving spouse is the individual with the first priority. *See id.* § 3-203(a)(2).

Under the Uniform Probate Code, a surviving spouse has first priority only if the spouse is a devisee of the decedent. Mary satisfies that condition. Therefore, Mary will be appointed personal representative of the estate. Even if Mary were not a devisee, she would still be entitled to be appointed under the Code because John's devisees (i.e., "my children") are not qualified to be appointed personal representatives because Son is a minor. *See* UNIF. PROBATE CODE § 3-203(a)(4).

February 2014
MEE Questions
and Analyses

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the February 2014 MEE. (In the actual test, the questions are simply numbered rather than being identified by area of law.) The instructions for the test appear on page iii.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, identified by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Federal Civil Procedure question on the February 2014 MEE tested the following area from the Federal Civil Procedure outline: IV.D., Pretrial procedures—Discovery (including e-discovery).

For more information about the MEE, including subject matter outlines, visit the NBCE website at www.ncbex.org.

Description of the MEE

The MEE consists of six 30-minute essay questions and is a component of the Uniform Bar Examination (UBE). It is administered by participating jurisdictions on the Tuesday before the last Wednesday in February and July of each year. The areas of law that may be covered by the questions on any MEE are Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Conflict of Laws, Constitutional Law, Contracts, Criminal Law and Procedure, Evidence, Family Law, Federal Civil Procedure, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Uniform Commercial Code (Negotiable Instruments and Bank Deposits and Collections; Secured Transactions). Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusions. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Answer all questions according to generally accepted fundamental legal principles unless your testing jurisdiction has instructed you to answer according to local case or statutory law.

NOTE: Examinees testing in UBE jurisdictions must answer according to generally accepted fundamental legal principles rather than local case or statutory law.

February 2014 MEE

► *QUESTIONS*

Constitutional Law

Trusts and Future Interests

Secured Transactions

Federal Civil Procedure

Criminal Law and Procedure

Agency and Partnership

CONSTITUTIONAL LAW QUESTION

A city ordinance required each downtown business to install high-powered halogen floodlights that would illuminate the property owned by that business and the adjoining sidewalks. A study commissioned by the city estimated that installation of the floodlights would cost a typical business about \$1,000, but that increased business traffic due to enhanced public safety, especially after dark, would likely offset this cost.

A downtown restaurant applied to the city for a building permit to construct an addition that would increase its seating capacity. In its permit application, the restaurant accurately noted that its current facility did not have sufficient seating to accommodate all potential customers during peak hours. The city approved the permit on the condition that the restaurant grant the city an easement over a narrow strip of the restaurant's property, to be used by the city to install video surveillance equipment that would cover nearby public streets and parking lots. The city based its permit decision entirely on findings that the increased patronage that would result from the increased capacity of the restaurant might also attract additional crime to the neighborhood, and that installing video surveillance equipment might alleviate that problem.

The restaurant has challenged both the ordinance requiring it to install floodlights and the easement condition imposed on approval of the building permit.

1. Under the Fifth Amendment as applied to the states through the Fourteenth Amendment, is the city ordinance requiring the restaurant to install floodlights an unconstitutional taking? Explain.
2. Under the Fifth Amendment as applied to the states through the Fourteenth Amendment, is the city's requirement that the restaurant grant the city an easement as a condition for obtaining the building permit an unconstitutional taking? Explain.

TRUSTS AND FUTURE INTERESTS QUESTION

Ten years ago, a testator died, survived by his only children: a son, age 26, and a daughter, age 18.

A testamentary trust was created under the testator's duly probated will. The will specified that all trust income would be paid to the son during the son's lifetime and that upon the son's death, the trust would terminate and trust principal would be distributed to the testator's "grandchildren who shall survive" the son. The testator provided for his daughter in other sections of the will.

Five years ago, the trustee of the testamentary trust purchased an office building with \$500,000 from the trust principal. Other than this building, the trust assets consist of publicly traded securities.

Last year, the trustee received \$30,000 in rents from the office building. The trustee also received, with respect to the securities owned by the trust, cash dividends of \$20,000 and a stock dividend of 400 shares of Acme Corp. common stock distributed to the trust by Acme Corp.

Eight months ago, the trustee sold the office building for \$700,000.

Six months ago, the son delivered a letter to the trustee stating: "I hereby disclaim any interest I may have in the income interest of the trust." On the date the son delivered this letter to the trustee, the son had no living children; the daughter had one living minor child.

A statute in this jurisdiction provides that "a disclaimer of any interest created by will is valid only if made within nine months after the testator's death, and if an interest is validly disclaimed, the disclaiming party is deemed to have predeceased the testator."

1. How should the rents, sales proceeds, cash dividends, and stock dividends received prior to the trustee's receipt of the son's letter have been allocated between trust principal and income? Explain.
2. How, if at all, does the son's letter to the trustee affect the future distribution of trust income and principal? Explain.

SECURED TRANSACTIONS QUESTION

On March 1, the owner of a manufacturing business entered into negotiations with a bank to obtain a loan of \$100,000 for the business. The bank loan officer informed the business owner that the interest rate for a loan would be lower if the repayment obligation were secured by all the business's present and future equipment. The loan officer also informed the business owner that the bank could not commit to making the loan until its credit investigation was completed, but that funds could be advanced faster following loan approval if a financing statement with respect to the transaction were filed in advance. Accordingly, the business owner signed a form on behalf of the business authorizing the bank to file a financing statement with respect to the proposed transaction. The bank properly filed a financing statement the next day, correctly providing the name of the business as the debtor and indicating "equipment" as the collateral.

On March 15, the business owner had heard nothing from the bank about whether the loan had been approved, so the business owner approached a finance company for a loan. The finance company quickly agreed to lend \$100,000 to the business, secured by all the business's present and future equipment. That same day, the finance company loaned to the business \$100,000, and the business owner signed an agreement obligating the business to repay the loan and granting the finance company a security interest in all the business's "present and future equipment" to secure the repayment obligation. Also on that day, the finance company properly filed a financing statement correctly providing the business's name as the debtor and indicating "equipment" as the collateral.

On March 21, the bank loan officer contacted the business owner and indicated that the loan application had been approved. On the next day, March 22, the bank loaned the business \$100,000. The loan agreement, signed by the owner on behalf of the business, granted the bank a security interest in all the business's "present and future equipment."

On April 10, the business sold an item of manufacturing equipment to a competitor for \$20,000. This was the first time the business had ever sold any of its equipment. The competitor paid the purchase price in cash and took possession of the equipment that day. The competitor acted in good faith at all times and had no knowledge of the business's prior transactions with the bank and the finance company.

The business has defaulted on its obligations with respect to the loans from the bank and the finance company. Each of them has asserted a claim to all the business's equipment as well as to the item of equipment sold to the business's competitor.

Assume that the business owner had the authority to enter into all these transactions on behalf of the business.

1. As between the bank and the finance company, which has a superior claim to the business's equipment? Explain.
2. Do the claims of the bank and the finance company to the business's equipment continue in the item of equipment sold to the competitor? Explain.

FEDERAL CIVIL PROCEDURE QUESTION

A builder constructed a vacation house for an out-of-state customer on the customer's land. The house was completed on June 1, at which point the customer still owed \$200,000 of the \$800,000 contract price, which was payable in full five days later.

On June 14, the basement of the house was flooded with two inches of water during a heavy rainfall. When the customer complained, the builder told the customer, "The flooding was caused by poorly designed landscaping. Our work is fine and fully up to code. Have an engineer look at the foundation. If there's a problem, we'll fix it."

The customer, pleased by the builder's cooperative attitude, immediately hired a structural engineer to examine the foundation of the house. On June 30, the engineer provided the customer with a written report on the condition of the foundation, which stated that the foundation was properly constructed.

Unhappy with the conclusions in the engineer's report, the customer then hired a home inspector to evaluate the house. The home inspector's report concluded that the foundation of the house had been poorly constructed and was inadequately waterproofed.

On July 10, the customer sent the builder the home inspector's report with a note that said, "Until you fix this problem, you won't get another penny from me." The builder immediately contacted an attorney and directed the attorney to prepare a draft complaint against the customer for nonpayment. Hoping to avoid litigation, the builder sent several more requests for payment to the customer. The customer ignored all these requests.

On September 10, the builder filed suit in federal district court, properly invoking the court's diversity jurisdiction and seeking \$200,000 in damages for breach of contract. The customer's answer denied liability on the basis of alleged defective construction of the house's foundation.

Several months later, the case is nearly ready for trial. However, two discovery disputes have not yet been resolved.

First, despite a request from the builder, the customer has refused to provide a copy of the report prepared by the structural engineer who examined the foundation of the house. The customer claims that the report is "work product" and not discoverable because the customer does not intend to ask the engineer to testify at trial. The builder has asked the court to order the customer to turn over the engineer's report.

Second, the customer has asked the court to impose sanctions for the builder's failure to comply with the customer's demand for copies of all emails concerning construction of the foundation of the house. The builder has truthfully informed the customer that all such emails were destroyed on August 2. This destruction was pursuant to the builder's standard practice of permanently deleting all project-related emails from company records 60 days after construction of a project is complete. There is no relevant state records-retention law.

1. Should the court order the customer to turn over the engineer's report? Explain.
2. Should the court sanction the builder for the destruction of emails related to the case, and if so, what factors should the court consider in determining those sanctions? Explain.

CRIMINAL LAW AND PROCEDURE QUESTION

A defendant was charged under state law with felony theft (Class D) and felony residential burglary (Class C). The indictment alleged that the defendant entered his neighbors' home without their consent and stole a diamond ring worth at least \$2,500.

Defense counsel filed a pretrial motion to dismiss the charges on the ground that prosecuting the defendant for both burglary and theft would constitute double jeopardy. The trial court denied the motion, and the defendant was prosecuted for both crimes. The only evidence of the ring's value offered at the defendant's jury trial was the owner's testimony that she had purchased the ring two years earlier for \$3,000.

At trial, the judge issued the following jury instruction on the burglary charge prior to deliberations:

If, after consideration of all the evidence presented by the prosecution and defense, you find beyond a reasonable doubt that the defendant entered the dwelling without the owners' consent, you may presume that the defendant entered with the intent to commit a felony therein.

The jury found the defendant guilty of both offenses.

At the defendant's sentencing hearing, an expert witness called by the prosecutor testified that the diamond ring was worth between \$7,000 and \$8,000. Over defense objection, the judge concluded, by a preponderance of the evidence, that the value of the stolen ring exceeded \$5,000. The judge sentenced the defendant to four years' incarceration on the theft conviction. On the burglary conviction, the defendant received a consecutive sentence of seven years' incarceration.

In this state, residential burglary is defined as "entry into the dwelling of another, without the consent of the lawful resident, with the intent to commit a felony therein." Residential burglary is a Class C felony for which the minimum sentence is five years and the maximum sentence is ten years of incarceration.

In this state, theft is defined as "taking and carrying away the property of another with the intent to permanently deprive the owner of possession." Theft is a Class D felony if the value of the item(s) taken is between \$2,500 and \$10,000. The sentence for a Class D felony theft is determined by the value of the items taken. If the value is between \$2,500 and \$5,000, the maximum sentence is three years' incarceration. If the value of the items exceeds \$5,000, the maximum sentence is five years' incarceration.

This state affords a criminal defendant no greater rights than those mandated by the United States Constitution.

1. Did the trial court err when it denied the defendant's pretrial motion to dismiss on double jeopardy grounds? Explain.
2. Did the trial court err in its instruction to the jury on the burglary charge? Explain.
3. Did the trial court err when it sentenced the defendant to an additional year of incarceration on the theft conviction based on the expert's testimony? Explain.

AGENCY AND PARTNERSHIP QUESTION

Five years ago, Adam and Ben formed a general partnership, Empire Partnership (Empire), to buy and sell antique automobiles at a showroom in State A. Adam contributed \$800,000 to Empire, and Ben contributed \$200,000. Their written partnership agreement allocated 80% of profits, losses, and control to Adam and 20% to Ben. No filings of any type were made in connection with the formation of Empire.

Three years ago, a collector purchased one of Empire's antique cars for \$3,400,000. The collector was willing to pay this price because of Ben's false representation (repeated in the sales contract) that a famous movie star had once owned the car. Without the movie-star connection, the car was worth only \$100,000. One month later, when the collector discovered the truth, he sued Adam, Ben, and Empire for \$3,300,000 in damages. The lawsuit is still pending.

Two years ago, Adam and Ben admitted a new partner, Diane, to Empire in return for her contribution of \$250,000. The three agreed to allocate profits, losses, and control 75% to Adam, 10% to Ben, and 15% to Diane. Before joining the partnership, Diane learned of the collector's claim and stated her concern to Adam and Ben that she might become liable if the claim were reduced to a judgment.

Following Diane's admission to Empire, the three partners sought to convert Empire into a limited liability partnership (LLP). Adam's lawyer proposed to file with State A a "statement of qualification" making an LLP election and declaring the name of the partnership to be "Empire LLP." Ben's lawyer stated that this would not work and that a new LLP had to be formed, with the assets of the old partnership transferred to the new one. In the end, the conversion was done the way Adam's lawyer suggested with the approval of all three partners.

One year ago, a driver purchased a vintage car from Empire LLP, based on the representation that the car was "fully roadworthy and capable of touring at 70 mph all day." The driver took the car on the highway at 50 mph, whereupon the front suspension collapsed, resulting in a crash in which the car was destroyed and the driver killed. The driver's estate sued Adam, Ben, Diane, and Empire LLP for \$10,000,000. The lawsuit is still pending.

Although profitable, Empire LLP does not have resources sufficient to pay the collector's claim or the claim of the driver's estate.

Assume that the Uniform Partnership Act (1997) applies.

1. Before the filing of the statement of qualification,
 - (a) was Adam personally liable on the collector's claim? Explain.
 - (b) was Diane personally liable on the collector's claim? Explain.
2. After the filing of the statement of qualification, was Adam, Ben, or Diane personally liable as a partner on (a) the collector's claim or (b) the driver's estate's claim? Explain.

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► *ANALYSES*

Constitutional Law

Trusts and Future Interests

Secured Transactions

Federal Civil Procedure

Criminal Law and Procedure

Agency and Partnership

CONSTITUTIONAL LAW ANALYSIS

(Constitutional Law IV.D.)

ANALYSIS

Legal Problems

- (1) Is the city ordinance requirement that businesses install floodlights a taking?
- (2) Is conditioning the approval of a building permit on the grant of an easement to install surveillance equipment a taking of property?

DISCUSSION

Summary

The ordinance requiring businesses to install floodlights is not a *per se* taking under *Loretto*, because it does not force a private landowner to allow a third party to enter and place a physical object on the land. Here, the city ordinance requires the business—not a third party—to install the floodlights.

The ordinance is likely not a regulatory taking under the *Penn Central* balancing test. While the ordinance will impose a cost on business owners, that cost may be offset by the expected increase in business due to the ordinance, and the ordinance does not appear to interfere with the owner's primary use of the property as a restaurant.

The permit condition, however, is likely an uncompensated taking of property. While the condition has an essential nexus with the city's legitimate interest in promoting public safety, the city has not made an individualized determination that the easement condition is roughly proportional to the possibility of increased crime due to the restaurant's proposed addition. Thus, the permit condition likely violates the Fifth Amendment as applied to the states through the Fourteenth Amendment.

Point One (50%)

The ordinance requiring that businesses install floodlights is not a *per se* taking under *Loretto*. It is not a regulatory taking under the *Penn Central* balancing test because the cost of compliance with the ordinance may be offset by an expected increase in business and compliance does not interfere with the business's primary use of its property as a restaurant.

The city ordinance requiring a business to install floodlights does not effect a *per se* taking of the sort described in *Loretto v. Teleprompter Manhattan CATV Corp.*, 458 U.S. 419 (1982), because no property is physically taken by the government and the ordinance does not involve a physical invasion of private property by a third party.

Even though the ordinance does not constitute an occupation of the property by either the government or a third party, it is still subject to the three-factor balancing test under *Penn Central Transportation Co. v. City of New York*, 438 U.S. 104 (1978), to determine whether it is a "regulatory taking." Under *Penn Central*, a court must balance (1) "[t]he economic impact of the regulation on the claimant," (2) "the extent to which the regulation has interfered with distinct investment-backed expectations," and (3) "the character of the governmental action." *Id.* at 124. Here, each factor weighs against finding that the ordinance is a taking.

First, the ordinance requirement likely has a minimal economic impact on the restaurant. Compliance with the ordinance is estimated to cost \$1,000, and the city has found that businesses will likely recoup that cost in increased sales. Also, because the ordinance does not interfere with the operation of the restaurant, the owner may still earn a reasonable return on its investment in the property.

Second, the ordinance does not interfere with the business's investment-backed expectations. As in *Penn Central*, the challenged law does not interfere with the owner's "primary expectation" for use of the property—in *Penn Central*, as a railroad terminal, and here, as a restaurant. Further, the ordinance does not prevent the restaurant from expanding to meet the changing business environment.

Third, the character of the government action does not weigh in favor of a taking. While *Penn Central* does say that a "physical invasion" is more likely to pose a taking, *Loretto* suggests that the Court's main concern is with physical invasions by third parties. Also, like the landmark law challenged in *Penn Central*, the ordinance here "adjust[s] the benefits and burdens of economic life to promote the common good." *Id.* In *Penn Central*, the landmark law restricted development of the railroad terminal to promote the common interest in preserving historic landmarks. Here, the ordinance requires the businesses to install floodlights to promote the common interest in crime prevention and public safety.

Because the ordinance is clearly a valid exercise of the police power, it satisfies the takings clause's public-use requirement. *Kelo v. City of New London*, 545 U.S. 469 (2005).

In sum, all three factors weigh against finding a taking under the *Penn Central* balancing test.

Point Two (50%)

The permit condition may be unconstitutional as an uncompensated taking of property because the city has not made an individualized determination that the easement condition is roughly proportional to the impact of the restaurant's proposed addition.

In *Dolan v. City of Tigard*, 512 U.S. 374 (1994), the Supreme Court set forth the test for determining whether an exaction imposed by a government in exchange for a discretionary benefit conferred by the government, such as a condition on the approval of a building permit in this case, constitutes an uncompensated taking under the Fifth Amendment. The exaction is not a taking if (1) there is an "essential nexus" between the "public need or burden" to which the proposed development contributes and "the permit condition exacted by the city," *id.* at 386, and (2) the government makes "some sort of individualized determination that the required dedication is [roughly proportional] both in nature and extent to the impact of the proposed development." *Id.* at 391; *see also Nollan v. California Coastal Commission*, 483 U.S. 825 (1987).

Here, the city likely can meet the nexus requirement. In *Dolan*, the landowner sought to double the size of its business, which would have increased traffic on nearby roadways. In exchange for approving the development, the city sought an easement for a bike and pedestrian path. The Court found the required nexus between the easement and the city's "attempt to reduce traffic congestion by providing for alternative means of transportation." 512 U.S. at 387. Here, a similar nexus likely exists between the requested easement and the city's interest in crime prevention and public safety. Increased patronage and economic activity at the restaurant might attract additional crime to the area, and the requested easement to install surveillance equipment would attempt to address that increased crime.

The exaction here, however, may fail the second prong of the *Dolan* test—that the exaction be roughly proportional to the anticipated impact of the requested development. As noted, the city in *Dolan* claimed that a bike and pedestrian path was needed to offset the increase in traffic due to the proposed doubling of the business. The Court explained that the government must demonstrate that the additional traffic reasonably was related to the requested exaction and that the government must “make some effort to quantify its findings in support of the dedication for the pedestrian/bicycle pathway beyond the conclusory statement that it could offset some of the traffic demand generated.” *Id.* at 395. Here, the city did not carry its burden. The city simply speculates that increased patronage of the restaurant “might” increase crime, and that the surveillance equipment “might” alleviate this increased crime. Because the city has not made “some effort to quantify its findings” in support of the easement, it has not shown that the burden of the easement is roughly proportional to the benefits thought to flow from it.

Thus, the exaction appears to be an uncompensated taking of property in violation of the Fifth Amendment as applied to the states through the Fourteenth Amendment.

TRUSTS AND FUTURE INTERESTS ANALYSIS

(Trusts and Future Interests I.E.3., I.5.; III.A. & B.)

ANALYSIS

Legal Problems

(1) How should rents, dividends, and sales proceeds received by the trustee prior to receipt of the son's letter have been allocated between trust income and principal?

(2)(a) Did the remainder interest in the trust accelerate and become immediately payable to the daughter's minor child upon the trustee's receipt of the son's letter, and, if not, how should the trustee handle the distribution of the principal in the future?

(2)(b) Following the trustee's receipt of the son's letter, how should the trustee distribute future receipts of income prior to the distribution of the principal?

DISCUSSION

Summary

Prior to the trustee's receipt of the son's letter, cash dividends and rents should have been allocated to trust income and were distributable to the son, the income beneficiary of the trust; sales proceeds and stock dividends should have been allocated to principal.

Because the son's letter to the trustee did not result in a valid disclaimer under state law (having been made more than nine months after the testator's death), the son is not deemed to have predeceased the testator. Because the son is still living, the class gift to the testator's grandchildren who survive the son has not closed and is not possessory; it will not become possessory until the son dies. The daughter's minor child, being the testator's only living grandchild, is not currently entitled to a distribution of trust principal. Trust principal will instead be distributable upon the son's death to the testator's then-living grandchildren or, if there are none, to the testator's then-living heirs.

As for future income, the trustee should either distribute the trust income to the son and the daughter as the testator's heirs, accumulate the income for future distribution to those individuals ultimately entitled to the trust principal, or distribute it to those presumptively entitled to the principal upon the son's death, i.e., the daughter's minor child.

Point One (45%)

Cash dividends and rents are allocable to income; sales proceeds and stock dividends are allocable to principal. Items allocable to income for the period prior to the son's attempted disclaimer were distributable to the son.

Receipts earned during the administration of a trust are allocable either to income or to principal. Almost all states have adopted the most recent or an earlier version of the Uniform Principal and Income Act (the Act), which specifies how such receipts should be allocated.

Under the Act, rents (UNIF. PRIN. & INC. ACT (2000) § 405; UNIF. PRIN. & INC. ACT (1962) § 3(a)(1)) and cash dividends received from a corporation (UNIF. PRIN. & INC. ACT (2000) § 401(b); UNIF. PRIN. & INC. ACT (1962) § 6(d)) are allocable to income and are distributable to the income beneficiary of the trust.

Sales proceeds (UNIF. PRIN. & INC. ACT (2000) § 404(2); UNIF. PRIN. & INC. ACT (1962) § 3(b)(1)) and dividends paid in the stock of the distributing corporation (UNIF. PRIN. & INC. ACT (2000) § 401(c)(1); UNIF. PRIN. & INC. ACT (1962) § 3(b)(4)) are allocable to principal and added to the principal of the trust.

Here, the cash dividends and office building rents should have been allocated to income and, until the trustee received the son's letter, should have been distributed to him as the sole income beneficiary of the trust. The stock dividend and proceeds from the sale of the office building should have been allocated to principal and held by the trustee for future distribution to the ultimate remaindermen of the trust.

[NOTE: The 2000 Uniform Principal and Income Act has been adopted in Alabama, Arkansas, Colorado, Connecticut, the District of Columbia, Hawaii, Idaho, Iowa, Kentucky, Missouri, Montana, Nebraska, New Mexico, North Dakota, Oregon, South Dakota, Utah, and West Virginia.]

Point Two(a) (45%)

Because the son did not disclaim within nine months of the testator's death, there is no valid disclaimer under state law. Therefore, the son is not deemed to have predeceased the testator. Furthermore, because of the express survivorship contingency in the will, the remainder in the trust does not accelerate and become distributable until the son in fact dies. When the son dies, the trust principal will be distributable to the testator's then-living grandchildren, or if none, then to the testator's then-living heirs.

When a trust remainder is given to a class, the class closes (i.e., no new persons can join the class) when there is no outstanding income interest, and at least one member of the class is then entitled to demand possession of his or her share of the remainder. This principle is called the rule of convenience. *See generally* HERBERT HOVENKAMP & SHELDON F. KURTZ, PRINCIPLES OF PROPERTY LAW 199–200 (6th ed. 2005). A class member may demand possession of his or her share of the remainder upon termination of the income interest only when the class member's interest is not otherwise subject to a condition precedent. *See id.*

When a beneficiary timely disclaims an interest in a trust, that beneficiary is treated as if he had predeceased the testator. Here, had the son disclaimed within nine months of the testator's death as required by the state statute, he would have been deemed to have predeceased the testator. This would have closed the class of remaindermen, and the testator's then-living grandchildren (i.e., the daughter's child) would have been entitled to the trust principal. However, under the state statute, the son's disclaimer was not timely because he did not disclaim within nine months of the testator's death. Thus, because the statute is inapplicable and the son is still alive, the class of grandchildren entitled to share in trust principal did not close.

Because, here, the statute is inapplicable due to the son's failure to comply with the statutory time requirements, then presumably the common-law rule allowing disclaimers (a/k/a renunciations) at any time should apply. Under the common law, if a life estate is renounced, the remainder interest accelerates and becomes immediately distributable to the remaindermen of the trust if the remainder is vested but not if the remainder is contingent. JESSE DUKEMINIER & ROBERT H. SITKOFF, WILLS, TRUSTS, AND ESTATES 844–845 (9th ed. 2013). Here, because the remainder is contingent upon there being grandchildren who survive the son, the remainder will not accelerate. It will remain open until the son dies, leaving open the possibility that additional grandchildren will be included in the class, or the daughter's child could fall out of the class because that child fails to survive the son.

And if none of the testator's grandchildren survive the son, the trust principal will be distributed to the testator's heirs living at the son's death.

Point Two(b) (10%)

Until the trust terminates, the trustee must continue to hold the trust assets. The distribution of income in the meantime is unclear. There are at least three possibilities. Income earned on the undistributed assets could be distributed to the son and daughter as the testator's heirs, accumulated and added to principal for distribution to the ultimate remaindermen, or distributed from time to time to those persons who are presumptively remaindermen.

When trust principal is not immediately distributable, the trustee must continue to hold trust assets until the ultimate remaindermen are ascertained. During this period, trust income will be distributed or retained according to any instructions contained in the trust instrument. *See WILLIAM M. MCGOVERN, JR., SHELDON F. KURTZ & DAVID M. ENGLISH, WILLS, TRUSTS & ESTATES § 10.2 (4th ed. 2010).*

Here, the testator did not specify what the trustee should do with trust income in the event the son's disclaimer did not comply with the state statute. There are at least three approaches. One approach would have the trustee distribute the trust income to the testator's heirs on the theory that the income represents property that was not disposed of by the testator's will and which thus passes by partial intestacy to the testator's heirs. A second approach would have the trustee accumulate trust income for distribution to the ultimate remaindermen. Under this approach, only those individuals ultimately entitled to the principal would share in the income. A third approach would have the trustee distribute trust income to those individuals who would be the remaindermen if the trust were to terminate when the income is received by the trustee; under this approach, trust income would be distributed to the daughter's minor child until another presumptive remainderman is born. This approach could result in individuals not ultimately entitled to principal, say because they do not survive the son, receiving income. It could also result in a disproportionate distribution of income among the individuals ultimately entitled to income.

[NOTE: Examinees should demonstrate a recognition and understanding of the income-allocation problem and the alternatives available to address that issue. There is no widely accepted solution to the problem. Examinees who cite any of these possible problem-solving approaches may receive credit.]

SECURED TRANSACTIONS ANALYSIS

(Secured Transactions I.B.; II.D., E. & F.; III.B.; IV.A., B. & F.)

ANALYSIS

Legal Problems

- (1)(a) What is the nature of the bank's claim to the business's equipment?
- (1)(b) What is the nature of the finance company's claim to the business's equipment?
- (1)(c) As between the bank and the finance company, whose claim to the business's equipment has priority?
- (2) Do the claims of the bank and the finance company continue in the item of equipment sold by the business to the competitor?

DISCUSSION

Summary

The bank and the finance company both have perfected security interests in the business's equipment. Even though the finance company's perfected security interest was created first, the bank's perfected security interest has priority because the bank's financing statement was filed before the finance company's financing statement. The security interests of the bank and the finance company continue in the item of equipment sold by the business to the competitor because their security interests were perfected and the competitor was not a buyer in ordinary course of business.

Point One(a) (25%)

The bank has a perfected security interest in the business's equipment.

The bank has met all criteria necessary for it to have an attached and enforceable security interest in the business's equipment. First, value must be given. UCC § 9-203(b)(1). This criterion is fulfilled by the loan made by the bank to the business. Second, the debtor must have rights in the collateral. UCC § 9-203(b)(2). Clearly, the business has rights in its equipment. Third, either the secured party must take possession of the collateral or the debtor must authenticate a security agreement containing a description of the collateral. UCC § 9-203(b)(3). The agreement that the business owner signed is a "security agreement" because it is an agreement that creates or provides for a security interest. UCC § 9-102(a)(74). By signing the security agreement, the business owner authenticated it. UCC § 9-102(a)(7). Therefore, all three criteria are fulfilled, and the bank has an enforceable and attached security interest.

A security interest is perfected when it has attached and when any additional steps required for perfection have occurred. UCC § 9-308(a). Generally speaking, the additional steps will either be possession of the collateral by the secured party or the filing of a financing statement with respect to the collateral. *See* UCC §§ 9-310, 9-313. In this case, the bank filed a financing statement naming the debtor and sufficiently indicating the collateral. The collateral indication is sufficient because it identifies the collateral by type of property. *See* UCC §§ 9-504, 9-108. The fact that the financing statement was filed before the security interest was created is

Secured Transactions Analysis

not a problem. Even though the security agreement had not yet been signed, the business had authorized the filing of the financing statement in an authenticated record. UCC § 9-509(a)(1). Moreover, the financing statement may be filed before the security agreement is created. UCC § 9-502(d).

Point One(b) (10%)

The finance company also has a perfected security interest in the business's equipment.

The finance company's security interest is enforceable and attached for the same reasons as the bank's security interest. The loan from the finance company to the business constitutes value, the business has rights in the collateral, and the business owner has authenticated a security agreement containing a description of the collateral. The finance company's security interest is perfected because the finance company filed a financing statement with respect to it that provides that the business is the debtor and indicates that the collateral is equipment.

Point One(c) (30%)

The bank's security interest has priority over the finance company's security interest because the bank's financing statement was filed first.

As between two perfected security interests, the general rule is that the security interest that was the earlier to be either perfected or the subject of a filed financing statement has priority. UCC § 9-322(a)(1). While the finance company's security interest was perfected before the bank's (March 15 vs. March 22), the bank's financing statement was filed even earlier, on March 2. Thus, under the first-to-file-or-perfect rule of UCC § 9-322(a)(1), the bank's security interest has priority. No exceptions to the general rule apply here.

Point Two (35%)

A security interest in collateral continues notwithstanding its sale unless an exception applies. Because the security interests of the bank and the finance company were perfected and the competitor was not a buyer in ordinary course of business, no exception applies and the security interests of both creditors continue in the equipment sold to the competitor.

As a general rule, a security interest in collateral continues notwithstanding the fact that the debtor has sold the collateral to another person. UCC § 9-315(a)(1). Thus, unless an exception applies, the security interests of the bank and the finance company will continue in the item of equipment sold to the competitor.

A buyer of goods will take free of an *unperfected* security interest in those goods. *See* UCC § 9-317(a)(2). However, when the competitor bought the business's equipment, both the bank and the finance company had perfected security interests in the equipment.

A buyer can take free even of a perfected security interest in goods if the buyer is a "buyer in ordinary course of business." *See* UCC § 9-320(a). However, the competitor was not a buyer in ordinary course of business. To be a "buyer in ordinary course of business," a buyer must buy goods from a seller that is in the business of selling goods of that kind. *See* UCC § 1-201(b)(9). The competitor bought this equipment from a seller that is not in the business of selling goods of this kind, so the competitor was not a buyer in ordinary course of business with respect to these goods.

Because no exception applies, the security interests of the bank and the finance company continue even after the item of equipment was sold to the competitor.

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure IV.D.)

ANALYSIS

Legal Problems

(1) Is a document prepared in the course of a contract dispute protected from discovery as “work product” when there is no evidence that the document was prepared in anticipation of litigation?

(2)(a) Is a party’s failure to provide relevant electronically stored information excused when the information was destroyed pursuant to a routine document retention scheme at a time when litigation was contemplated by the destroying party?

(2)(b) What sanctions should be imposed on a party for allowing the destruction of evidence that is relevant to potential future litigation?

DISCUSSION

Summary

The report prepared by the structural engineer is probably not work product and is thus discoverable. The engineer examined the foundation of the house at the customer’s request, and the engineer’s findings are potentially relevant to the customer’s claim that the foundation is defective. The report was not prepared in anticipation of litigation. The customer appears to have sought the engineer’s opinion in response to the builder’s offer to fix any problems with the foundation that an engineer might identify. Because the report was not prepared in anticipation of litigation, it is not protected by the work-product doctrine.

The builder should have taken appropriate steps to preserve evidence, including suspending its document retention program, as soon as it began planning for litigation—i.e., on July 10. Its destruction of potentially relevant material after that date was wrongful. However, a court is unlikely to impose severe sanctions on the builder because there are no facts indicating that the builder acted in bad faith and the customer can prove that the foundation is defective without the destroyed emails.

Point One (40%)

The customer must turn over the engineer’s report because it was not prepared in anticipation of litigation.

In general, a party to a lawsuit in federal court “may obtain discovery regarding any nonprivileged matter that is relevant to any party’s claim or defense.” FED. R. CIV. P. 26(b)(1) (2009). This includes the right to inspect and copy documents in the other party’s possession. FED. R. CIV. P. 34(a)(1). Here, the customer hired a structural engineer to examine the foundation of the house. The engineer’s report on the foundation is likely to include information that would be relevant to the customer’s claim that the foundation was defectively constructed.

The so-called “work product” rule allows a party to refuse to turn over “documents . . . that are prepared in anticipation of litigation or for trial” by that party’s representative, including

a consultant. Thus, if the customer had hired the structural engineer to prepare a report “in anticipation of litigation,” that report might not be discoverable. *See* FED. R. CIV. P. 26(b)(3).

In this case, however, the customer hired the engineer to evaluate the foundation of the house as part of the customer’s negotiation with the builder concerning the house’s flooding problem. The builder told the customer that the house’s landscaping was the reason for the flooding, and the builder told the customer, “Have an engineer look at the foundation. If there’s a problem, we’ll fix it.” The customer appears to have acted in response to that statement. There is no indication that the customer anticipated any kind of legal action at the time that the structural engineer was hired. Accordingly, the structural engineer’s report is discoverable and the court should order the customer to turn it over.

[NOTE: If an examinee concludes that the structural engineer’s report was prepared in anticipation of litigation, then the examinee should also conclude that the report is not discoverable. Documents prepared in anticipation of litigation do not need to be disclosed to an adverse party unless that party can demonstrate a “substantial need” for the documents and an inability to obtain substantially equivalent information without “undue hardship.” FED. R. CIV. P. 26(b)(3)(A)(ii). Furthermore, a report prepared by an expert who is not expected to testify is not discoverable in the absence of “exceptional circumstances” making it “impracticable” to obtain the information in another way. FED. R. CIV. P. 26(b)(4)(D)(ii). The builder probably cannot make these showings here, unless the engineer’s report deals with circumstances that have since changed. There is no evidence that the structural engineer would have had access to any information or facts that the builder would not already know as a result of its construction and subsequent inspection of the house. In addition, if necessary, the builder could ask the court for permission to arrange for a further inspection of the house by a structural engineer hired by the builder. *See* FED. R. CIV. P. 34(a)(2). Accordingly, if an examinee concludes that the report was prepared in anticipation of litigation, the examinee should also conclude that the builder is not entitled to see the report.]

Point Two(a) (30%)

Because the builder anticipated that it might be involved in litigation concerning its contract with the customer, the builder acted wrongfully in destroying emails that were relevant to the house’s construction, even though the emails were destroyed pursuant to a routine document retention plan.

As noted above, a party to a lawsuit in federal court “may obtain discovery regarding any nonprivileged matter that is relevant to any party’s claim or defense.” FED. R. CIV. P. 26(b)(1). This includes emails and other electronically stored information. FED. R. CIV. P. 34(a)(1)(A). Here, the customer has requested all the builder’s emails pertaining to work done on the foundation of the house. Ordinarily, the builder would be obliged to turn over this information, which is relevant to the customer’s defense that the house’s foundation was poorly constructed.

Unfortunately, the emails in question no longer exist because the builder destroyed them on August 2.

In general, spoliation of evidence (destruction or alteration of evidence) is improper if the party who destroyed or altered the evidence “has notice that the evidence is relevant to litigation or . . . should have known that the evidence may be relevant to future litigation.” *Fujitsu Ltd. v. Federal Express Corp.*, 247 F.3d 423, 436 (2d Cir. 2001). It is improper for a party to destroy electronic information relevant to pending litigation, even if the destruction occurs before there is any request or order seeking the information. *See, e.g., Leon v. IDX Sys. Corp.*, 464 F.3d 951 (9th Cir. 2006) (plaintiff’s intentional destruction of computer files warranted dismissal even

though spoliation occurred before order compelling discovery). Similarly, the duty to preserve evidence applies to a party who anticipates litigation, even if litigation has not yet been commenced. *See* THE SEDONA PRINCIPLES: BEST PRACTICES RECOMMENDATIONS & PRINCIPLES FOR ADDRESSING ELECTRONIC DOCUMENT PRODUCTION 70, cmt. 14a (2d ed. 2007).

The builder destroyed the emails on August 2. At that time, the builder knew that litigation was a possibility because the builder had already directed its attorney to prepare a draft complaint for possible filing. Knowing that litigation was a possibility, the builder had a duty to take steps to preserve evidence, including the emails in question. *See generally Fujitsu Ltd.*

In this case, the builder's destruction of the emails was pursuant to a routine document retention plan. The Federal Rules provide expressly that, in the absence of "exceptional circumstances," parties should not be sanctioned for the loss of electronically stored information when the loss occurs pursuant to "routine, good-faith operation of an electronic information system." FED. R. CIV. P. 37(e). However, when a party anticipates litigation, "it must suspend its routine document retention/destruction policy and put in place a 'litigation hold' to ensure the preservation of relevant documents." *Zubulake v. UBS Warburg LLC*, 220 F.R.D. 212, 218 (S.D.N.Y. 2003).

Thus, the builder's destruction of potentially relevant emails at a time when it knew that litigation was a possibility was improper. It had a duty to preserve evidence, and it breached that duty.

[NOTE: Because courts have used different words to describe the test for when evidence must be preserved, an examinee's precise formulation of the test is not critical.]

Point Two(b) (30%)

In determining appropriate sanctions for spoliation, courts consider both the level of culpability of the spoliating party and the degree of prejudice the loss of evidence has caused the other party. Here, the builder's destruction of evidence does not appear to have been willful, nor is it likely to pose a significant obstacle to the customer's defense. Any sanctions imposed by the court should be modest.

Federal courts have inherent power to control the litigation process and can sanction misbehavior, including spoliation, even when there has been no specific violation of the Federal Rules of Civil Procedure. *See generally Chambers v. NASCO, Inc.*, 501 U.S. 32 (1991) (discussing court's inherent power to control the litigation process). The range of available sanctions is broad. It can include such sanctions as the payment of expenses incurred by the other party as a result of the destruction of the evidence, an instruction to the jury authorizing it to draw an adverse inference from the destruction of the evidence, a shifting of the burden of proof on the relevant issue, or even judgment against the responsible party. *See, e.g., Residential Funding Corp. v. DeGeorge Financial Corp.*, 306 F.3d 99, 108 (2d Cir. 2002) (adverse inference); *Silvestri v. General Motors Corp.*, 271 F.3d 583, 593 (4th Cir. 2001) (possibility of dismissal). *Cf.* FED. R. CIV. P. 37(b)(2)(A) (listing remedies for failure to comply with discovery obligations).

In determining appropriate sanctions for spoliation, courts consider both the level of culpability of the spoliating party and the degree of prejudice the loss of evidence has caused the other party. Many courts impose severe sanctions (such as an adverse-inference instruction or the entry of judgment against the spoliating party) only when there is evidence of bad faith in the form of an intentional effort to hide information. *E.g., Greyhound Lines, Inc. v. Wade*, 485 F.3d 1032, 1035 (8th Cir. 2007) (spoliation sanction requires intentional destruction out of desire "to suppress the truth"). However, other courts have said that negligence in preserving evidence can

support an adverse-inference instruction. *See Residential Funding*, 306 F.3d at 108 (negligence enough under some circumstances).

Although a court might well order an evidentiary hearing on the issue of sanctions, the facts presented do not seem appropriate for severe sanctions. First, the evidence was destroyed pursuant to the builder's standard document retention plan, and there is no evidence that the builder deliberately failed to suspend its usual procedures with the purpose of allowing the destruction of evidence. Second, the loss of this evidence will not severely hinder the customer's presentation of his case. The central issue is whether the foundation of the house was properly constructed. If the construction job was poorly done, the customer can present evidence, derived from inspection of the premises, to prove that point. The customer can also depose witnesses about any issues that arose during construction.

Under the circumstances, a court is not likely to impose particularly severe sanctions, although it might shift the burden to the builder to show that the foundation was properly constructed, or it might require the builder to reimburse any expenses the customer incurs to discover and prove the facts about issues or disputes that arose during construction of the foundation.

[NOTE: The result reached by the examinee is less important than the examinee's recognition that (a) a range of sanctions is available to the court and (b) the appropriate sanction depends both on the culpability of the builder and the prejudice suffered by the customer.]

CRIMINAL LAW AND PROCEDURE ANALYSIS

(Criminal Law and Procedure II.A. & D.; V.E. & F.)

ANALYSIS

Legal Problems

- (1) Did charging the defendant with both theft and burglary constitute double jeopardy?
- (2) Did the jury instruction violate the due process clause either by relieving the prosecution of the burden of proving the element of intent or by shifting the burden to the defendant to disprove that element?
- (3) Did the sentence imposed in this case for the theft conviction unconstitutionally deprive the defendant of his right to a jury trial on the issue of the value of the stolen item?

DISCUSSION

Summary

The trial court properly denied the defendant's pretrial motion to dismiss the charges on double jeopardy grounds. The defendant may be charged with, and convicted of, both theft and burglary. Each of the charges has an element that the other does not. Neither charge is a lesser-included offense, nor are they multiplicitous. Thus, charging both theft and burglary does not violate double jeopardy.

The jury instruction on the burglary charge was constitutionally flawed. It could have been reasonably understood by the jury as either (1) an irrebuttable conclusive presumption (which relieved the prosecution of proving the element of intent and removed the issue from the jury) or (2) a rebuttable mandatory presumption (which unconstitutionally shifted the burden of proof on an element of a charged offense from the prosecution to the defendant).

Because the four-year sentence imposed by the judge was based on the judge's finding, by a preponderance of the evidence, that the value of the stolen ring exceeded \$5,000, the sentence violates the defendant's right to a jury determination, beyond a reasonable doubt, of the value of the ring.

Point One (30%)

Charging the defendant with theft and burglary did not constitute double jeopardy.

The Double Jeopardy Clause of the Fifth Amendment provides that a person shall not be twice put in jeopardy for the "same offense." Thus, the question is whether the elements of the theft charge are wholly contained in the burglary charge or vice versa. If the elements of the lesser charge (theft) are not wholly contained in the greater charge (burglary)—i.e., if each charge requires proof of a fact that the other does not—then convicting the defendant of both crimes would not violate double jeopardy even when the two offenses occurred at the same time and are thus arguably part of the "same transaction." *Blockburger v. United States*, 284 U.S. 299, 304 (1932). See also *Albernaz v. United States*, 450 U.S. 333, 344 n.3 (1981); *United States v. Dixon*, 509 U.S. 688, 704 (1993).

Here, theft and burglary each require proof of an element not required for the other crime. Burglary may be defined differently in different jurisdictions. However, it almost invariably requires entry into a building or dwelling of another with the specific intent to commit a felony therein, and the crime of burglary is complete upon the entry into the building or dwelling with such intent. *See, e.g., Cannon v. Oklahoma*, 827 P.2d 1339, 1342 (Okla. Crim. App. 1992). In contrast, theft, which also may be defined differently in different states, almost invariably requires the taking and carrying away of an item of personal property belonging to another with the intent to steal or permanently deprive the owner of possession.

Here, the “taking” or “stealing” element is not contained in the definition of burglary, and the “entry” element of burglary is not contained in the definition of theft. Because theft is not a lesser-included offense of burglary and burglary is not a lesser-included offense of theft, charging the defendant for both burglary and theft did not violate double jeopardy and the court properly denied the defense motion on those grounds. *Yparrea v. Dorsey*, 64 F.3d 577, 579–80 (10th Cir. 1995), *citing Blockburger*, 284 U.S. at 304.

Finally, the defendant’s motion to dismiss all the charges on double jeopardy grounds was improper because, if both charges were for the same offense, the motion should have requested dismissal of one charge, not both.

Point Two (35%)

The jury instruction on the burglary charge violated the Due Process Clause because it created either (1) an irrebuttable conclusive presumption (which relieved the prosecution of proving the element of intent and removed that issue from the jury) or (2) a rebuttable mandatory presumption (which unconstitutionally shifted the burden of proof on an element of a charged offense to the defendant).

The Supreme Court has interpreted the Due Process Clause of the U.S. Constitution to require that the prosecution prove all elements of an offense beyond a reasonable doubt. *See In re Winship*, 397 U.S. 358, 364 (1970). The burden of proof cannot be shifted to the defendant by presuming an essential element upon proof of other elements of the offense, because shifting the burden of persuasion with respect to any element of a criminal offense is contrary to the Due Process Clause. *See Mullaney v. Wilbur*, 421 U.S. 684 (1975).

The crime of burglary includes entry into a building or dwelling with the specific intent to commit a felony therein. The requirement that the prosecutor prove, beyond a reasonable doubt, that the defendant had this specific intent distinguishes burglary from general-intent crimes like trespass. *See Sandstrom v. Montana*, 442 U.S. 510, 523 (1979).

Here, the jury was instructed that if, “after consideration of all the evidence presented by the prosecution and defense, you find beyond a reasonable doubt that the defendant entered the dwelling without the owners’ consent, you may presume that the defendant entered with the intent to commit a felony therein.” This instruction was unconstitutional because it created either an irrebuttable conclusive presumption or a rebuttable mandatory presumption.

A conclusive presumption is “an irrebuttable direction by the court to find intent once convinced of the facts triggering the presumption.” *Id.* at 517. Here, the jurors were instructed that once the prosecutor established that the defendant entered the neighbors’ house without consent, they “may presume” that he intended to commit a felony therein. The jurors may have reasonably concluded from this instruction that if they found that the defendant intended to enter his neighbors’ home without permission, they must further find that he entered with the specific intent to commit a felony therein. Because this instruction could operate as a conclusive

irrebuttable presumption by eliminating intent “as an ingredient of the offense,” it violated due process by relieving the prosecution of the burden of proof for this element. *Id.* at 522.

In the alternative, the jury instruction could have been reasonably understood to create a rebuttable mandatory presumption, which “tells [the jury] they *must* find the elemental fact upon proof of the basic fact, at least unless the defendant has come forward with some evidence to rebut the presumed connection between the two facts.” *County Court of Ulster County, New York v. Allen*, 442 U.S. 140, 157 (1979). The due process problem created by rebuttable mandatory presumptions is that “[t]o the extent that the trier of fact is forced to abide by the presumption, and may not reject it based on an independent evaluation of the particular facts presented by the State, the analysis of the presumption’s constitutional validity is logically divorced from those facts and based on the presumption’s accuracy in the run of cases.” *Id.* at 159.

Unlike irrebuttable conclusive presumptions, rebuttable mandatory presumptions are not always *per se* violations of the Due Process Clause. However, the Supreme Court of the United States has held that jury instructions that could reasonably be understood as shifting the burden of proof to the defendant on an element of the offense are unconstitutional. *Francis v. Franklin*, 471 U.S. 307 (1985). Here, the argument that the jury instruction operated as a rebuttable mandatory presumption is supported by the fact that the judge also instructed the jury to “consider[] . . . all the evidence presented by the prosecution and defense.” However, even if the instruction created a rebuttable mandatory presumption, it would be unconstitutional because it shifted the burden to the defense on an *element* of the offense. *Sandstrom*, 442 U.S. at 524; *Mullaney*, 421 U.S. at 686.

[NOTE: Whether an examinee identifies the jury instruction as containing a “conclusive” or “mandatory” presumption is less important than the examinee’s analysis of the constitutional infirmities.]

Point Three (35%)

The trial court violated the defendant’s Sixth Amendment right to a jury trial on an essential element of the offense when it found, by a preponderance of the evidence, that the ring was worth over \$5,000 and increased the defendant’s sentence based on this finding.

In the statutory scheme under which the defendant was tried and convicted, a Class D felony theft is defined as theft of item(s) with a value between \$2,500 and \$10,000. The jury found that the value of the diamond ring was at least \$2,500 and convicted the defendant of felony theft. However, at sentencing, the trial court made a separate finding, by a preponderance of the evidence, that the value of the ring was greater than \$5,000. Following the statute’s two-tiered sentencing scheme, the judge then imposed on the defendant a sentence that was one year longer than the maximum that would otherwise have been allowed.

The judge’s sentence was unconstitutional because it violated the defendant’s Sixth Amendment right to a jury trial on this question. The Supreme Court held in *Apprendi v. New Jersey*, 530 U.S. 466 (2000), that “[o]ther than the fact of a prior conviction, any fact that increases the penalty for a crime beyond the prescribed statutory maximum must be submitted to a jury, and proved beyond a reasonable doubt” because “[i]t is unconstitutional for a legislature to remove from the jury the assessment of facts that increase the prescribed range of penalties to which a criminal defendant is exposed [because] such facts must be established by proof beyond a reasonable doubt.” *Id.* The Court reaffirmed *Apprendi* in *Blakely v. Washington*, 542 U.S. 296 (2004), holding that the “‘statutory maximum’ for *Apprendi* purposes is the maximum sentence a judge may impose *solely on the basis of the facts reflected in the jury verdict or admitted by the defendant.*” *Id.* at 303 (emphasis in original). In *United States v. Booker*, 543 U.S. 220 (2005),

the Court relied on *Blakely* and *Apprendi* to conclude that protecting a defendant's Sixth Amendment right to a jury trial required that "[a]ny fact . . . which is necessary to support a sentence exceeding the maximum authorized by the facts established by a plea of guilty or a jury verdict must be admitted by the defendant or proved to a jury beyond a reasonable doubt." *Id.* at 244.

Thus, in order to constitutionally increase a sentence above the statutory maximum of three years, the *jury* must have found beyond a reasonable doubt that the value of the ring exceeded \$5,000. Here, the court made the finding based on an appraisal proffered by the prosecutor only at sentencing, and the judge's finding was by a preponderance of the evidence rather than beyond a reasonable doubt.

AGENCY AND PARTNERSHIP ANALYSIS

(Agency and Partnership V.A. & C.; VI.)

ANALYSIS

Legal Problems

- (1) Is a partner in a general partnership personally liable on a claim arising from misrepresentations by another partner made in the course of the partnership business?
- (2) Does a newly admitted partner in a general partnership become personally liable on existing claims against the partnership?
- (3) After the filing by a general partnership of a statement of qualification as a limited liability partnership, are the partners personally liable as partners on (a) an existing claim against the general partnership and (b) a claim against the partnership that arose after the filing?

DISCUSSION

Summary

Adam and Ben formed a general partnership, under which they were jointly and severally liable for obligations of the partnership. Thus, Adam was personally liable for misrepresentations by Ben made in the ordinary course of the partnership business.

Upon joining the general partnership, Diane became personally liable for the obligations of the partnership arising after her admission, but not for obligations pre-existing her admission, such as the collector's claim.

By filing a statement of qualification, the three partners properly elected limited liability partnership status. As partners in an LLP, none of the three partners is personally liable as a partner for partnership obligations arising after the election, such as the claim by the driver's estate. The election, however, does not change their personal liability on pre-existing claims that arose before the election, such as the collector's claim.

Point One (30%)

As a general partner of Empire, a general partnership, Adam became personally liable on the collector's claim, a valid claim against the partnership that arose because of Ben's wrongful act in the ordinary course of the partnership business.

When the collector's claim arose, Empire was a general partnership composed of Adam and Ben. Under UPA (1997) § 306(a), partners of a general partnership are liable jointly and severally for all obligations of the partnership. Under UPA (1997) § 305(a), the partnership could become obligated for the loss caused to the collector as a result of the misrepresentation by Ben, provided he was acting in the ordinary course of the partnership business. Because there was no statement that limited his partnership authority, Ben as partner was "an agent of the partnership for the purpose of its business." See UPA (1997) § 301(1). Ben's misrepresentation to the collector, even if intentional, appears to be in the ordinary course of the partnership's business of dealing

in antique cars. Thus, Ben's wrongful act created a partnership obligation for which Adam was jointly and severally liable.

[NOTE: Generally, a partnership creditor must "exhaust the partnership's assets before levying on a judgment debtor partner's individual property where the partner is personally liable for the partnership obligation" as a result of his status as a partner. UPA (1997) § 307 cmt. 4. As the UPA comments explain, this places Adam more in the position of guarantor than principal debtor on the partnership obligation. *Id.*, cmt. 4. Although an examinee might discuss this point, the call focuses on whether Adam is personally liable, not how the liability might be enforced.]

Point Two (30%)

Because the collector's claim arose before Diane joined Empire, Diane did not become personally liable on the claim.

Diane was admitted to Empire when it was a general partnership and after the collector's claim arose. While the general rule under UPA (1997) § 306(a) is that the partners of a general partnership are liable jointly and severally for all obligations of the partnership, there is a special rule for partners who are admitted during the duration of the partnership. Under UPA (1997) § 306(b), a person admitted to an existing partnership is not personally liable for any partnership obligations incurred before the person's admission. Because Diane was admitted to Empire after the collector's claim arose, Diane is not personally liable on the claim.

Diane's knowledge of the pre-existing claim and her stated concern about becoming liable on the collector's claim do not change her personal nonliability to the collector. Although partners who have a liability shield can assume liability to third parties through private contractual guarantees or modifications to the partnership agreement, Diane's stated concern constituted neither a guaranty to the collector nor "an intentional waiver of liability protections." See UPA (1997) § 306, cmt. 3 (describing methods for waiver of liability protections under § 306(c) applicable in limited liability partnerships).

At most, Diane will lose her investment in the partnership as a result of the collector's claim. Although Diane did not become personally liable on the collector's claim when she joined the partnership, the \$250,000 she contributed to the partnership is "at risk for the satisfaction of existing partnership debts." UPA (1997) § 306 cmt. 2.

Point Three (40%)

Filing the statement of qualification was effective to elect limited liability partnership status. Despite this new status, Adam and Ben remain personally liable on the collector's claim, which arose before the election. But as partners in an LLP, neither Adam, Ben, nor Diane is personally liable as a partner on the driver's estate's claim, which arose after the election.

Under UPA (1997) § 1001, a general partnership can make an election and become a limited liability partnership—if the partners approve the conversion by a vote equivalent to that necessary to amend the partnership agreement and the partnership then files a statement of qualification that specifies the name of the partnership, its principal office, and its election to be an LLP. Here the partners agreed unanimously—sufficient to amend their agreement under UPA (1997) § 401(j)—and the statement of qualification was filed. In addition, the name of Empire LLP properly included an appropriate ending, "LLP." See UPA (1997) § 1002.

Although another way to effectuate a "conversion" (as suggested by Ben's lawyer) is to form a new LLP and transfer the assets of the old general partnership to the new LLP, the

method used here (approval by the partners and the filing of a statement of qualification) is also sufficient to create LLP status.

Thus, Empire became Empire LLP as of the date of filing of the statement of qualification. *See* UPA (1997) § 1001. What effect did this have on the collector's claim, which predated the filing? According to UPA (1997) § 306(c), an obligation incurred while a partnership is an LLP is solely a partnership obligation. As the collector's claim predated the LLP, Adam and Ben remain personally liable on the collector's claim. Diane, on the other hand, was not personally liable on the collector's claim, either before or after the filing of the statement of qualification. *See* Point Two above.

The driver's estate's claim arose after Empire became Empire LLP. Under UPA (1997) § 306(c), an obligation incurred while a partnership is an LLP is solely a partnership obligation. Thus, Adam, Ben, and Diane *as partners* are all protected from personal liability on the driver's estate's claim. But there may be *personal liability* if any of them was negligent or otherwise acted wrongfully by not informing the buyer of the bad suspension that caused the accident.

July 2014
MEE Questions
and Analyses



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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the July 2014 MEE. (In the actual test, the questions are simply numbered rather than being identified by area of law.) The instructions for the test appear on page iii.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, identified by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Federal Civil Procedure question on the July 2014 MEE tested the following areas from the Federal Civil Procedure outline: III., Injunctions and provisional remedies; and IV.C., Pretrial procedures—Joinder of parties and claims (including class actions).

For more information about the MEE, including subject matter outlines, visit the NCBE website at www.ncbex.org.

Description of the MEE

The MEE consists of six 30-minute questions and is a component of the Uniform Bar Examination (UBE). It is administered by user jurisdictions as part of the bar examination on the Tuesday before the last Wednesday in February and July of each year. Areas of law that may be covered on the MEE include the following: Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Conflict of Laws, Constitutional Law, Contracts, Criminal Law and Procedure, Evidence, Family Law, Federal Civil Procedure, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Uniform Commercial Code (Negotiable Instruments and Bank Deposits and Collections; Secured Transactions). (Effective with the February 2015 MEE administration, Uniform Commercial Code Articles 3 and 4 [Negotiable Instruments and Bank Deposits and Collections] is no longer being tested.) Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusions. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Answer all questions according to generally accepted fundamental legal principles unless your testing jurisdiction has instructed you to answer according to local case or statutory law.

NOTE: Examinees testing in UBE jurisdictions must answer according to generally accepted fundamental legal principles rather than local case or statutory law.

July 2014 MEE

► *QUESTIONS*

Criminal Law and Procedure

Contracts

Family Law

Federal Civil Procedure

Evidence

Corporations

CRIMINAL LAW AND PROCEDURE QUESTION

While on routine patrol, a police officer observed a suspect driving erratically and pulled the suspect's car over to investigate. When he approached the suspect's car, the officer detected a strong odor of marijuana. The officer immediately arrested the suspect for driving under the influence of an intoxicant (DUI). While the officer was standing near the suspect's car placing handcuffs on the suspect, the officer observed burglary tools on the backseat.

The officer seized the burglary tools. He then took the suspect to the county jail, booked him for the DUI, and placed him in a holding cell. Later that day, the officer gave the tools he had found in the suspect's car to a detective who was investigating a number of recent burglaries in the neighborhood where the suspect had been arrested.

At the time of his DUI arrest, the suspect had a six-month-old aggravated assault charge pending against him and was being represented on the assault charge by a lawyer.

Early the next morning, upon learning of her client's arrest, the lawyer went to the jail. She arrived at 9:00 a.m., immediately identified herself to the jailer as the suspect's attorney, and demanded to speak with the suspect. The lawyer also told the jailer that she did not want the suspect questioned unless she was present. The jailer told the lawyer that she would need to wait one hour to see the suspect. After speaking with the lawyer, the jailer did not inform anyone of the lawyer's presence or her demands.

The detective, who had also arrived at the jail at 9:00 a.m., overheard the lawyer's conversation with the jailer. The detective then entered the windowless interview room in the jail where the suspect had been taken 30 minutes earlier. Without informing the suspect of the lawyer's presence or her demands, the detective read to the suspect full and accurate Miranda warnings. The detective then informed the suspect that he wanted to ask about the burglary tools found in his car and the recent burglaries in the neighborhood where he had been arrested. The suspect replied, "I think I want my lawyer here before I talk to you." The detective responded, "That's up to you."

After a few minutes of silence, the suspect said, "Well, unless there is anything else I need to know, let's not waste any time waiting for someone to call my attorney and having her drive here. I probably should keep my mouth shut, but I'm willing to talk to you for a while." The suspect then signed a Miranda waiver form and, after interrogation by the detective, made incriminating statements regarding five burglaries. The interview lasted from 9:15 a.m. to 10:00 a.m.

In addition to the DUI, the suspect has been charged with five counts of burglary.

The lawyer has filed a motion to suppress all statements made by the suspect to the detective in connection with the five burglaries.

The state supreme court follows federal constitutional principles in all cases interpreting a criminal defendant's rights.

1. Did the detective violate the suspect's Sixth Amendment right to counsel when he questioned the suspect in the absence of the lawyer? Explain.

Criminal Law and Procedure Question

2. Under Miranda, did the suspect effectively invoke his right to counsel? Explain.
3. Was the suspect's waiver of his Miranda rights valid? Explain.

CONTRACTS QUESTION

A music conservatory has two concert halls. One concert hall had a pipe organ that was in poor repair, and the other had no organ. The conservatory decided to repair the existing organ and buy a new organ for the other concert hall. After some negotiation, the conservatory entered into two contracts with a business that both repairs and sells organs. Under one contract, the business agreed to repair the existing pipe organ for the conservatory for \$100,000. The business would usually charge a higher price for a project of this magnitude, but the business agreed to this price because the conservatory agreed to prepay the entire amount. Under the other contract, the business agreed to sell a new organ to the conservatory for the other concert hall for \$225,000. As with the repair contract, the business agreed to a low sales price because the conservatory agreed to prepay the entire amount. Both contracts were signed on January 3, and the conservatory paid the business a total of \$325,000 that day.

Two weeks later, before the business had commenced repair of the existing organ, the business suffered serious and unanticipated financial reversals. The chief financial officer for the business contacted the conservatory and said,

Bad news. We had an unexpected liability and as a result are in a real cash crunch. In fact, even though we haven't acquired the new organ from our supplier or started repair of your existing organ, we've already spent the cash you gave us, and we have no free cash on hand. We're really sorry, but we're in a fix. I think that we can find a way to perform both contracts, but not at the original prices. If you agree to pay \$60,000 more for the repair and \$40,000 more for the new organ, we can probably find financing to finish everything. If you don't agree to pay us the extra money, I doubt that we will ever be able to perform either contract, and you'll be out the money you already paid us.

After receiving this unwelcome news, the conservatory agreed to pay the extra amounts, provided that the extra amount on each contract would be paid only upon completion of the business's obligations under that contract. The business agreed to this arrangement, and the parties quickly signed documents reflecting these changes to each contract. The business then repaired the existing organ, delivered the new organ, and demanded payment of the additional \$100,000.

The conservatory now has refused to pay the business the additional amounts for the repair and the new organ.

1. Must the conservatory pay the additional \$60,000 for the organ repair? Explain.
2. Must the conservatory pay the additional \$40,000 for the new organ? Explain.

FAMILY LAW QUESTION

In 1994, a man and a woman were married in State A.

In 1998, their daughter was born in State A.

In 2010, the family moved to State B.

In 2012, the husband and wife divorced in State B. Under the terms of the divorce decree:

- (a) the husband and wife share legal and physical custody of their daughter;
- (b) the husband must pay the wife \$1,000 per month in child support until their daughter reaches age 18;
- (c) the marital residence was awarded to the wife, with the proviso that if it is sold before the daughter reaches age 18, the husband will receive 25% of the net sale proceeds remaining after satisfaction of the mortgage on the residence; and
- (d) the remaining marital assets were divided between the husband and the wife equally.

Six months ago, the husband was offered a job in State A that pays significantly less than his job in State B but provides him with more responsibilities and much better promotion opportunities. The husband accepted the job in State A and moved from State B back to State A.

Since returning to State A, the husband has not paid child support because, due to his lower salary, he has had insufficient funds to meet all his obligations.

One month ago, the wife sold the marital home, netting \$10,000 after paying off the mortgage. She then moved to a smaller residence. The husband believes that he should receive more than 25% of the net sale proceeds given his financial difficulties.

Last week, when the wife brought the daughter to the husband's State A home for a weekend visit, the husband served the wife with a summons in a State A action to modify the support and marital-residence-sale-proceeds provisions of the State B divorce decree. The husband brought the action in the State A court that adjudicates all domestic relations issues.

1. Does the State A court have jurisdiction to modify
 - (a) the child support provision of the State B divorce decree? Explain.
 - (b) the marital-residence-sale-proceeds provision of the State B divorce decree? Explain.
2. On the merits, could the husband obtain
 - (a) retroactive modification of his child support obligation to the daughter? Explain.
 - (b) prospective modification of his child support obligation to the daughter? Explain.
 - (c) modification of the marital-residence-sale-proceeds provision of the State B divorce decree? Explain.

FEDERAL CIVIL PROCEDURE QUESTION

The United States Forest Service (USFS) manages public lands in national forests, including the Scenic National Forest. Without conducting an environmental evaluation or preparing an environmental impact statement, the USFS approved a development project in the Scenic National Forest that required the clearing of 5,000 acres of old-growth forest. The trees in the forest are hundreds of years old, and the forest is home to a higher concentration of wildlife than can be found anywhere else in the western United States.

The USFS solicited bids from logging companies to harvest the trees on the 5,000 acres of forest targeted for clearing, and it ultimately awarded the logging contract to the company that had submitted the highest bid for the trees. However, the USFS has not yet issued the company a logging permit. Once it does so, the company intends to begin cutting down trees immediately.

A nonprofit organization whose mission is the preservation of natural resources has filed suit in federal district court against the USFS. The nonprofit alleges that the USFS violated the National Environmental Policy Act (NEPA) by failing to prepare an environmental impact statement for the proposed logging project. Among other remedies, the nonprofit seeks a permanent injunction barring the USFS from issuing a logging permit to the logging company until an adequate environmental impact statement is completed. The nonprofit believes that the logging project would destroy important wildlife habitat and thereby cause serious harm to wildlife in the Scenic National Forest, including some endangered species.

Assume that federal subject-matter jurisdiction is available, that the nonprofit has standing to bring this action, and that venue is proper.

1. If the logging company seeks to join the litigation as a party, must the federal district court allow it to do so as a matter of right? Explain.
2. What types of relief could the nonprofit seek to stop the USFS from issuing a logging permit during the pendency of the action, what must the nonprofit demonstrate to obtain that relief, and is the federal district court likely to grant that relief? Explain.

EVIDENCE QUESTION

A prison inmate has filed a civil rights lawsuit against a guard at the prison, alleging that the guard violated the inmate's constitutional rights during an altercation. The inmate and the guard are the only witnesses to this altercation. They have provided contradictory reports about what occurred.

The trial will be before a jury. The inmate plans to testify at trial. The guard's counsel has moved for leave to impeach the inmate with the following:

- (a) Twelve years ago, the inmate was convicted of felony distribution of marijuana. He served a three-year prison sentence, which began immediately after he was convicted. He served his full sentence and was released from prison nine years ago.
- (b) Eight years ago, the inmate pleaded guilty to perjury, a misdemeanor punishable by up to one year in jail. He paid a \$5,000 fine.
- (c) Seven years ago, the inmate was convicted of felony sexual assault of a child and is currently serving a 10-year prison sentence for the crime. The victim was the inmate's daughter, who was 13 years old at the time of the assault.

The inmate's counsel objects to the admission of any evidence related to these three convictions and to any cross-examination based on this evidence.

The guard also plans to testify at trial. The inmate's counsel has moved for leave to impeach the guard with the following:

Last year, the guard applied for a promotion to prison supervisor. The guard submitted a résumé to the state that indicated that he had been awarded a B.A. in Criminal Justice from a local college. An official copy of the guard's academic transcript from that college indicates that the guard dropped out after his first semester and did not receive a degree.

The guard's counsel objects to the admission of this evidence and to any cross-examination based on this evidence.

The transcript and the résumé have been properly authenticated. The trial will be held in a jurisdiction that has adopted all of the Federal Rules of Evidence.

1. What evidence, if any, proffered by the guard to impeach the inmate should be admitted? Explain.
2. What evidence, if any, proffered by the inmate to impeach the guard should be admitted? Explain.

CORPORATIONS QUESTION

Mega Inc. is a publicly traded corporation incorporated in a state whose corporate statute is modeled on the Model Business Corporation Act (MBCA). Mega's articles of incorporation do not address the election of directors or amendment of the bylaws by shareholders.

Well within the deadline for the submission of shareholder proposals for the upcoming annual shareholders' meeting, an investor, who was a large and long-standing shareholder of Mega, submitted a proposed amendment to Mega's bylaws. The proposal, which the investor asked to be included in the corporation's proxy materials and voted on at the upcoming shareholders' meeting, read as follows:

Section 20: The Corporation shall include in its proxy materials (including the proxy ballot) for a shareholders' meeting at which directors are to be elected the name of a person nominated for election to the Board of Directors by a shareholder or group of shareholders that beneficially have owned 3% or more of the Corporation's outstanding common stock for at least one year.

This Section shall supersede any inconsistent provision in these Bylaws and may not be amended or repealed by the Board of Directors without shareholder approval.

Mega's management decided to exclude the investor's proposal from the corporation's proxy materials and explained its reasons in a letter to the investor:

The investor's proposed bylaw provision would be inconsistent with relevant state law because the Board of Directors has the authority to manage the business and affairs of the Corporation. Generally, shareholders lack the authority to interfere with corporate management by seeking to create a method for the nomination and election of directors inconsistent with the method chosen by the Board of Directors.

Furthermore, at its most recent meeting, the Board of Directors unanimously approved an amendment to the Corporation's bylaws that provides for proxy access for director nominations by a shareholder or a group of shareholders holding at least 10% of the Corporation's voting shares for at least three years. This procedure takes precedence over any nomination methods that might be sought or approved by shareholders.

The investor is considering bringing a suit challenging management's refusal to include the investor's proposed bylaw provision and challenging the board's amendment of the bylaws at its recent meeting.

1. Is the investor's proposed bylaw provision inconsistent with state law? Explain.
2. If the investor's proposed bylaw provision were approved by the shareholders, would the bylaw amendment previously approved by the board take precedence over the investor's proposed bylaw provision? Explain.
3. Must the investor make a demand on Mega's board of directors before bringing suit? Explain.

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▶ *ANALYSES*

Criminal Law and Procedure

Contracts

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CRIMINAL LAW AND PROCEDURE ANALYSIS

(Criminal Law and Procedure V.A., B., D.)

ANALYSIS

Legal Problems

- (1) Did the detective violate the suspect's Sixth Amendment right to counsel when he questioned the suspect about the burglaries without the lawyer present, given that the lawyer represented the suspect in an unrelated criminal matter?
- (2) Under Miranda, did the suspect effectively invoke his right to counsel when he said, "I think I want my lawyer here before I talk to you"?
- (3) Was the suspect's waiver of his right to remain silent under Miranda valid?

DISCUSSION

Summary

The Sixth Amendment right to counsel, as applied to states through the Fourteenth Amendment, is offense-specific. Although the suspect had an attorney representing him on his pending assault charge, he had no Sixth Amendment right to the assistance of counsel with respect to the five uncharged burglaries because formal adversarial proceedings had not yet commenced on those charges. The suspect's Sixth Amendment right to counsel was not violated by the detective's failure to inform him that the lawyer was present or of the lawyer's demands.

However, a person undergoing custodial interrogation also has an independent constitutional right to counsel during custodial interrogation under Miranda. When a suspect invokes his right to counsel under Miranda, custodial interrogation must immediately cease for a period of at least 14 days. However, the invocation of the right to counsel must be unambiguous and clearly convey that the suspect has requested counsel. Here, because the suspect's statement, "I think I want my lawyer here before I talk to you," was ambiguous, he did not invoke his Miranda right to counsel.

A waiver of rights must be knowing, intelligent, and voluntary. Here, the suspect waived his right to remain silent under Miranda when he signed the waiver form. The fact that the detective did not correct the suspect's assumption that the lawyer would need to drive to the jail—by telling him that the lawyer was in the waiting room and was demanding to see him—did not affect the validity of the suspect's waiver.

Point One (35%)

The suspect's Sixth Amendment right to counsel was not violated because the right does not attach on new charges until formal adversarial judicial proceedings have commenced on those charges.

The Sixth Amendment, as applied to the states through the Fourteenth Amendment, provides that "[i]n all criminal prosecutions, the accused shall enjoy the right . . . to have the Assistance of Counsel for his defense." The right to counsel does not attach with respect to particular charges until formal adversarial judicial proceedings have commenced (i.e., "at or after the initiation of adversary judicial criminal proceedings—whether by way of formal charge, preliminary hearing,

indictment, information, or arraignment [or in some states, arrest warrant],” *McNeil v. Wisconsin*, 501 U.S. 171, 175 (1991) (internal quotations omitted)). Once a suspect’s Sixth Amendment right to counsel has attached, any attempts to “deliberately elicit” statements from him in the absence of his attorney violate the Sixth Amendment. *See Massiah v. United States*, 377 U.S. 201 (1964); *Brewer v. Williams*, 430 U.S. 387 (1977).

The Sixth Amendment right to counsel is charge- or offense -specific. Representation by counsel in one prosecution does not, in itself, guarantee counsel for uncharged offenses. *See McNeil*, 501 U.S. at 175; *Texas v. Cobb*, 532 U.S. 162 (2001). Here, the suspect’s Sixth Amendment right to counsel had attached only for the pending aggravated assault charge. The suspect’s right to counsel for the aggravated assault case did not guarantee counsel for the five unrelated and uncharged burglaries that were the subject of the detective’s interrogation. Thus, because formal adversarial judicial proceedings against the suspect for the uncharged burglaries had not begun, he had no Sixth Amendment right to counsel.

Finally, the detective’s failure to inform the suspect of the lawyer’s presence and demands to speak with him does not implicate the suspect’s Sixth Amendment right to counsel, which had not yet attached. *See id.*; *Moran v. Burbine*, 475 U.S. 412, 428–31 (1986).

Point Two (30%)

The suspect did not effectively invoke his right to counsel under Miranda because his statement was not unambiguous.

A suspect subject to custodial interrogation has a right to consult with counsel and to have an attorney present during questioning. *Miranda v. Arizona*, 384 U.S. 436 (1966). When a suspect invokes his right to counsel during an interrogation, law enforcement must immediately cease all questioning. *See Edwards v. Arizona*, 451 U.S. 477, 484–85 (1981). Custodial interrogation cannot be reinitiated unless and until the suspect has been re-advised of his Miranda rights, has provided a knowing and voluntary waiver, *and* (1) counsel is present and (2) the suspect himself initiated further communication with the police, *see id.* at 484, *or* (3) (if the suspect was released from custody after the initial interrogation) at least 14 days have passed. *Maryland v. Shatzer*, 559 U.S. 98, 110 (2010).

To invoke the right to counsel, a suspect’s request must be “unambiguous.” This means that the suspect must articulate the desire for counsel sufficiently clearly that a reasonable officer would understand the statement to be a request for counsel. *Davis v. United States*, 512 U.S. 452, 459 (1994). If the request is ambiguous, the police are not required to stop the interrogation.

In this case, the suspect’s statement, “I think I want my lawyer here before I talk to you,” was not an unambiguous request for counsel. The most reasonable interpretation of this statement is that the suspect *might* be invoking his right to counsel. *Id.* at 461 (“maybe I should talk to a lawyer” is not an unequivocal request for counsel). *See also Burket v. Angelone*, 208 F.3d 172, 197–98 (4th Cir. 2000) (“I think I need a lawyer” is not an unambiguous request for an attorney); *Soffar v. Cockrell*, 300 F.3d 588, 594–95 (5th Cir. 2002) (discussion of various statements that did not constitute unequivocal requests for counsel).

Under these circumstances, the detective was not required to cease the custodial interrogation of the suspect. Nor was the detective required to clarify or ask follow-up questions to determine whether the suspect in fact wanted an attorney. *Davis*, 512 U.S. at 459–60.

Point Three (35%)

The suspect's waiver of his Miranda rights was knowing, intelligent, and voluntary despite the fact that he was never told of the lawyer's presence in the jail or of the lawyer's demands.

A valid waiver of Miranda rights must be “voluntary”—i.e., the product of a free or deliberate choice rather than intimidation, coercion, or deception. *Berghuis v. Thompson*, 560 U.S. 370, 382–83 (2010). In addition, the waiver must be knowing and intelligent. That is, it “must have been made with a full awareness of both the nature of the right being abandoned and the consequences of the decision to abandon it.” *Moran v. Burbine*, 475 U.S. 421 (1986).

In this case, the suspect signed a Miranda waiver form after receiving proper warnings. There is no evidence “that the police resorted to physical or psychological pressure to elicit the statements.” *Id.* The entire interview lasted only 45 minutes. The only issue is whether the suspect knowingly and intelligently waived his Miranda rights despite the fact that the detective did not tell the suspect about the lawyer's presence and her demands.

The Supreme Court has said that “[e]vents occurring outside of the presence of the suspect and entirely unknown to him surely can have no bearing on the capacity to comprehend and knowingly relinquish a constitutional right.” *Id.* at 422. If the suspect “knew that he could stand mute and request a lawyer, and . . . was aware of the State's intention to use his statements to secure a conviction,” then the waiver is valid regardless of the information withheld. *Id.* at 422–23.

Here, the suspect was correctly informed of his rights. *Miranda v. Arizona*, 384 U.S. at 467–73. His comments demonstrate that he understood that he could have a lawyer present if he desired (i.e., wondering whether he should call his attorney) and that he understood that there might be consequences to speaking with the detective (“I probably should keep my mouth shut, but I'm willing to talk to you for a while.”). His comment, “[L]et's not waste any time waiting for someone to call my attorney and having her drive here,” along with his signature on the Miranda waiver form, show that his waiver was valid under the constitutional standard.

The fact that the detective did not tell the suspect about the lawyer's presence and demands has no bearing on the validity of the suspect's waiver because “such conduct is only relevant to the constitutional validity of a waiver if it deprives a defendant of knowledge essential to his ability to understand the nature of his rights and the consequences of abandoning them.” *Moran*, at 424. The Supreme Court has specifically declined to adopt a rule requiring that law enforcement tell a suspect of an attorney's efforts to contact him, *id.* at 425 (“Nor are we prepared to adopt a rule requiring that the police inform a suspect of an attorney's efforts to reach him.”).

[NOTE: An examinee might also recognize that this general rule is further supported by the Supreme Court's decision in *Florida v. Powell*, 559 U.S. 50 (2010), approving state Miranda warnings that do not explicitly warn suspects that they have a right to have counsel present during custodial interrogation.]

CONTRACTS ANALYSIS

(Contracts I.B.2.; II.B.; IV.A.3. & A.5.)

ANALYSIS

Legal Problems

- (1) In the case of a service contract (governed by the common law of contracts), is a modification enforceable when a party agrees to pay more for the same performance than was originally promised?
- (2) In the case of a contract for the sale of goods (governed by Article 2 of the UCC), is a modification enforceable when a party agrees to pay more for the same goods than was originally promised?
- (3) May a party avoid an agreement on the basis of economic duress?

DISCUSSION

Summary

There are two arguments that the conservatory can make to support the claim that it is not bound to pay the higher prices: lack of consideration and economic duress.

The organ repair contract is governed by the common law of contracts. Under the common law, the business would have difficulty recovering the additional \$60,000 for the organ repair because, under the “preexisting duty rule,” the agreement of the conservatory to pay the extra price was not supported by consideration. However, the business might argue that the modification is enforceable under an exception to the preexisting duty rule for fair and equitable modifications made in light of unanticipated circumstances.

The organ sale contract is governed by Article 2 of the Uniform Commercial Code. The business would likely recover the additional amount under that contract because Article 2 provides that consideration is not required for a modification to be binding.

In both cases, the conservatory could seek to avoid its agreement on the grounds of economic duress, but that argument is not likely to succeed.

Point One (45%)

The business probably cannot recover the additional \$60,000 for the organ repair because the conservatory’s promise to pay more money was not supported by consideration.

The general rule is that, to be enforceable, a promise must be supported by consideration. Under RESTATEMENT (SECOND) OF CONTRACTS § 71, a promise is supported by consideration if it is bargained for in exchange for a return promise or performance. However, under the “preexisting duty rule” (exemplified in RESTATEMENT (SECOND) OF CONTRACTS § 73 and *Alaska Packers’ Ass’n v. Domenico*, 117 F. 99 (9th Cir. 1902)), promise of performance of a legal duty already owed to a promisor which is neither doubtful nor the subject of honest dispute is not consideration.

If the business had promised the conservatory anything new or different in exchange for the agreement to pay the additional \$60,000 (such as, for example, repairing the pipe organ more quickly or using better parts), that would constitute consideration, especially in light of the

principle that courts do not inquire into the adequacy of consideration. Here, however, the business already had a legal duty under the original contract and did not agree to do anything else in exchange for the conservatory's promise to pay \$60,000 more.

However, an exception to the preexisting duty rule is sometimes applied in situations of unanticipated changed circumstances. Under RESTATEMENT (SECOND) OF CONTRACTS § 89, followed in many jurisdictions, a promise modifying a duty under a contract not fully performed on either side is binding even if not supported by consideration, if the modification is fair and equitable in view of circumstances not anticipated by the parties when the contract was made.

If a court applies the rule in Restatement § 89, the critical issues will be whether the modification was in fact "fair and equitable" and whether it can be justified in light of unanticipated circumstances. In many cases in which modifications have been upheld, a party encountered difficulties or burdens in performing far beyond what was knowingly bargained for in the original contract, with the result bordering on impracticability, such as having to excavate solid rock instead of soft dirt, or having to remove garbage far in excess of the amounts contemplated. The conservatory would argue that the business's performance difficulties were not of this sort at all—nothing about repairing the pipe organ itself was any different from or more difficult than originally contemplated, except that the business itself encountered financial distress unrelated to its burdens in performing its obligations under these contracts.

Even if the business satisfies that element of the rule in Restatement § 89, the business must also demonstrate that the circumstances that gave rise to the need to modify the contract were "unanticipated" at the time the original contract was made. Here, the facts suggest that when the business entered into the original contract, it expected that the price paid by the conservatory would enable it to perform. However, any evidence that the business knew or had reason to know at the time of execution that it would need more money from the conservatory to be able to perform would mean that the request to modify was not "unanticipated."

[NOTE: Some cases, such as *Schwartzreich v. Bauman-Basch, Inc.*, 231 N.Y. 196, 131 N.E. 887 (1921), find that if the parties mutually agreed to rescind the original contract and then, after rescission, entered into an entirely new contract for a higher price, the new contract is supported by consideration. There is no evidence that such a rescission followed by a new contract took place here.]

Point Two (45%)

The business can recover the additional \$40,000 for the new organ because no consideration is required under Article 2 of the UCC for good-faith contract modifications.

The contract to buy a new organ is a contract for the sale of goods and therefore is governed by Article 2 of the Uniform Commercial Code. UCC § 2-102. Under Article 2, unlike the common law, an agreement modifying a contract needs no consideration to be binding. UCC § 2-209(1). Section 2-209(1) thus obviates the preexisting duty rule entirely in contracts for the sale of goods.

Even though consideration is not required, modifications governed by § 2-209 must satisfy the obligation of good faith imposed by the UCC. UCC § 1-304. *See also* Official Comment 2 to UCC § 2-209. Good faith means "honesty in fact and the observance of reasonable commercial standards of fair dealing." UCC § 1-201(b)(20). In this context, the obligation of good faith means that "[t]he effective use of bad faith to escape performance on the original contract terms is barred, and the extortion of a 'modification' without legitimate commercial reason is ineffective as a violation of the duty of good faith." Official Comment 2 to UCC § 2-209. Here, because the business's financial reversals were serious and apparently unanticipated at the time that the business entered into the contract with the conservatory, and commitment of the extra money was

needed to enable the business to perform, a court would likely find that the business acted in good faith. Thus, a court would likely uphold the enforceability of the conservatory's promise to pay the additional \$40,000.

Point Three (10%)

The conservatory is unlikely to be able to defend against enforcement of its promises to pay additional money under the theory of economic duress, because the business probably did not make an improper threat.

Under the common law of contracts, parties may raise the defense of duress. This common law defense also applies to contracts governed by UCC Article 2. *See* UCC § 1-103(b).

A contract is voidable on the ground of economic duress by threat when it is established that a party's manifestation of assent is induced by an improper threat that leaves the party no reasonable alternative. *See* RESTATEMENT (SECOND) OF CONTRACTS § 175. *See also, e.g., Austin Instrument Inc. v. Loral Corp.*, 272 N.E.2d 533 (N.Y. 1971) (a threat to withhold essential goods can constitute duress). In order to void its agreement to pay the additional sum because of economic duress, the conservatory must demonstrate that (1) the business made a threat to the conservatory, (2) the threat was "improper" or "wrongful," (3) the threat induced the conservatory's manifestation of assent to the modification, and (4) the threat was sufficiently grave to justify the conservatory's assent.

Here, it appears that three of the four elements are likely satisfied. The business plainly made a threat. Moreover, the threat induced the conservatory's assent to the modification, and the threat was sufficiently grave to justify that assent. If the conservatory had not agreed to pay the business the extra amounts, the conservatory would have lost its entire \$325,000 investment. In light of this potential loss, a court could easily conclude that the conservatory had no reasonable alternative.

However, the business has a strong argument that its threat (indicating that it would breach the contracts unless the prices were increased) was not wrongful or improper, but was instead nothing more than a communication of the reality of its own perilous situation to the conservatory.

A mere threat to breach a contract is not, in and of itself, improper so as to support an action of economic duress or business compulsion. Something more is required, such as a breach of the duty of good faith and fair dealing, as was present in *Austin Instrument Inc.*, *supra*. Because the business could not perform the original contract without the requested modification, the economic duress claim for the conservatory would likely fail for much the same reason that the business would be able to enforce the modification. At the time the modification was requested, the business was not trying to extort a price increase because of the conservatory's vulnerability, but instead was simply stating the reality that the business could not perform without more money.

FAMILY LAW ANALYSIS

(Family Law III.B., D. & G.)

ANALYSIS

Legal Problems:

- (1)(a) Does the State A court have jurisdiction to modify the State B child support order?
- (1)(b) Does the State A court have jurisdiction to modify the marital-residence-sale-proceeds provision of the State B property-division decree?
- (2)(a) May a child support order be modified retroactively?
- (2)(b) May a child support order be modified prospectively based on a change of employment with a lower salary?
- (2)(c) May a property-division order be modified after entry of a divorce decree?

DISCUSSION

Summary

The State A court may exercise personal jurisdiction over the wife because she was personally served in State A. However, subject-matter jurisdiction over the interstate modification of child support is governed by the Uniform Interstate Family Support Act (UIFSA). Under UIFSA, State A does not have jurisdiction to modify the order for the daughter's support because the wife is still a resident of State B. UIFSA, on the other hand, does not govern property distributions, and thus a State A court is not precluded from hearing the husband's petition to modify the marital-residence-sale-proceeds provision of the divorce decree.

A child support order may not be modified retroactively. A child support order may be modified prospectively based on a substantial change in circumstances. Courts agree that a significant decrease in income is a substantial change in circumstances. All states treat voluntary income reductions differently than involuntary reductions but employ different approaches for evaluating the impact of a voluntary reduction. Whether the husband could obtain prospective modification of the child support order depends on which approach is applied.

A property-division order is not subject to post-divorce modification based on a change in circumstances. Thus, the husband may, in some states, obtain prospective modification of the order for the daughter's support, but he may not obtain modification of the marital-residence-sale-proceeds provision.

Point One(a) (25%)

Personal jurisdiction over a nonresident respondent does not confer subject-matter jurisdiction over child support modification. Under UIFSA, a State A court may not modify a child support order issued by a State B court when, as here, the child or either parent continues to reside in State B, the jurisdiction that issued the child support order.

The State A court may exercise personal jurisdiction over the wife. The wife was personally served in State A, and a state may exercise jurisdiction based on in-state personal service. *See Burnham*

v. Superior Court, 495 U.S. 604 (1990). But personal jurisdiction over the wife is not enough to give a State A court jurisdiction to modify the State B support order.

The interstate enforcement and modification of child support is governed by the Uniform Interstate Family Support Act (UIFSA), which has been adopted by all states. Under UIFSA, the state that originally issued a child support order (here, State B) has continuing, exclusive jurisdiction to modify the order if that state remains the residence of the obligee, the child, or the obligor and all parties do not consent to the jurisdiction of another forum. *See* UIFSA § 205. *See also* UIFSA § 603 (“A tribunal of this State shall recognize and enforce, but may not modify, a registered order if the issuing tribunal had jurisdiction.”). The wife and daughter continue to reside in State B, and the wife has not consented to the jurisdiction of another forum. Thus, a State A court does not have jurisdiction to modify the State B child support order.

[NOTE: Examinees who do not discuss personal jurisdiction but fully discuss UIFSA may receive full credit.]

Point One(b) (15%)

UIFSA does not apply to disputes over property division. Thus, the State A court may exercise jurisdiction over the husband’s petition to modify the marital-residence-sale-proceeds provision of the State B divorce decree because it has personal jurisdiction over the wife.

The State A court in which the husband brought his action has jurisdiction to adjudicate domestic relations issues. The husband’s petition to modify the property settlement is a domestic relations issue. The courts of State A may exercise personal jurisdiction over the wife because she was personally served in State A. *See Burnham v. Superior Court*, 495 U.S. 604 (1990); *see* Point One(a).

UIFSA does not apply to divorce property-division disputes. Thus, although a State A court may not adjudicate the husband’s petition to modify his child support obligations, it may adjudicate his property-division claims. (Even though the court has jurisdiction, it may not modify the property-division award on the merits. *See* Point Two(c).)

Point Two(a) (20%)

A child support order may not be modified retroactively.

State courts have long held that obligations to pay child support ordinarily may not be modified retroactively. “If the hardship is particularly severe, the courts sometimes devised a way to protect the obligor, but in most instances the courts hold that retroactive modification of this kind is beyond their power and indeed the governing statute may so provide.” HOMER H. CLARK, *THE LAW OF DOMESTIC RELATIONSHIPS IN THE UNITED STATES* 725 (2d ed. 1987).

Federal law now goes further and *requires* the states, as a condition of federal child-support funding, to adopt rules that absolutely forbid retroactive modification of the support obligation. *See* 42 U.S.C. § 666(a)(9)(C). The states have adopted rules consistent with the federal requirements.

Point Two(b) (25%)

It is unclear whether the husband could obtain prospective downward modification of his child support based on his voluntary acceptance of a job with a lower salary.

Prospective modification of a child support order is typically available only when the petitioner can show a substantial change in circumstances. *See* ROBERT E. OLIPHANT & NANCY VER STEEGH,

FAMILY LAW 213–15 (3d ed. 2010). A significant decrease in income is typically viewed as a substantial change.

However, when a parent seeks to modify a child support obligation because he has *voluntarily* reduced his income, a court will not modify the obligation based solely on the income loss. Some courts refuse to modify whenever the income shift was voluntary. *See, e.g., Aguiar v. Aguiar*, 127 P.3d 234 (Idaho Ct. App. 2005). Others look primarily to the petitioner’s intentions and permit downward modification if he has acted in good faith. *See, e.g., In re Marriage of Horn*, 650 N.E.2d 1103 (Ill. App. Ct. 1995). Many courts use a multifactor approach. *See OLIPHANT & VER STEEGH, supra*, 217–18.

Here, there is no question that the husband’s loss of income was voluntary. In a jurisdiction in which voluntary income reduction bars support modification, the husband’s petition would be denied.

In a jurisdiction employing a good-faith or multifactor approach, it is possible, but not certain, that the husband could obtain downward modification. The evidence supports the husband’s good faith: his change in employment appears to be based on his new job’s greater responsibilities and better promotion possibilities. In a jurisdiction using a multifactor approach, the court would likely also consider the impact of such a shift on the daughter, the likely duration of the husband’s income loss, and the likelihood of a promotion that would ultimately inure to the daughter’s benefit. Thus, on these facts, it is possible, but by no means certain, that the husband could prospectively obtain downward modification of his child support obligation to his daughter.

Point Two(c)(15%)

A divorce property-division award is not subject to modification.

A support order is aimed at meeting the post-divorce needs of the supported individual. Because the future is unpredictable, courts are empowered to modify a support award to take account of changed circumstances that may occur during the period in which support is paid.

By contrast, a property-distribution award divides assets of the marriage based on the equities at the time of divorce. Because the past can be ascertained, a property-division award is not subject to post-divorce modification. *See HARRY A. KRAUSE ET AL., FAMILY LAW: CASES, COMMENTS, AND QUESTIONS* 691 (6th ed. 2007).

Here, the husband is seeking modification of a property-division award with respect to an asset owned by the parties at the time of divorce. Thus, the husband may not obtain a modification of the marital-residence-sale-proceeds provision of the divorce decree based on his reduced income.

FEDERAL CIVIL PROCEDURE ANALYSIS

(Federal Civil Procedure III.; IV.C.)

ANALYSIS

Legal Problems

(1) Is the logging company entitled to join this action as a matter of right?

(2)(a) May the nonprofit organization obtain a temporary restraining order to stop the USFS from issuing a logging permit?

(2)(b) May the nonprofit organization obtain a preliminary injunction to stop the USFS from issuing a logging permit during the pendency of the action?

DISCUSSION

Summary

The logging company is entitled to intervene in this action as a matter of right because it has an interest in the property or transaction that is the subject of the action and is so situated that its interest may be impaired or impeded as a practical matter if the action goes forward without it. The logging company's interest is not adequately represented by the USFS's presence in the lawsuit.

The nonprofit organization may seek a temporary restraining order (TRO), followed by a preliminary injunction, to prevent the USFS from issuing a logging permit pending the outcome of the action. The nonprofit is likely to obtain a TRO if it can demonstrate a risk of immediate and irreparable injury. The nonprofit is also likely to obtain a preliminary injunction if it can demonstrate a significant threat of irreparable harm and a likelihood of success on the merits of its National Environmental Policy Act (NEPA) claim.

Point One (50%)

Rule 24(a) of the Federal Rules of Civil Procedure requires federal courts to allow a person to intervene in an action as a matter of right if the person a) is interested in the property or transaction that is the subject of the action, b) is so situated that its interest may be impaired or impeded if the litigation goes forward without it, and c) is not adequately represented by existing parties. Here, the logging company likely meets all three requirements and should be allowed to intervene as a matter of right.

Rule 24 of the Federal Rules of Civil Procedure governs intervention, the process by which a non-party to an action may join the litigation. Under Rule 24(a) (intervention of right), a person must be permitted to intervene if three conditions are met: (1) the movant "claims an interest relating to the property or transaction that is the subject of the action," (2) the movant "is so situated that disposition of the action may as a practical matter impair or impede the movant's ability to protect its interest," and (3) "existing parties" do not "adequately represent [the movant's] interest." FED. R. CIV. P. 24(a). The three requirements for intervention of right are often "very interrelated." 7C CHARLES ALAN WRIGHT ET AL., FEDERAL PRACTICE AND PROCEDURE § 1908, at 297 (2007 & 2011 Supp.).

Here, the court should find that the logging company meets this test. First, the logging company has a strong interest in the property or transaction that is the subject of this action. The USFS has accepted the logging company's bid, and the logging company is merely awaiting issuance of a logging permit to begin logging. The nonprofit organization is seeking to prevent this logging. The logging company therefore has a strong, direct, and substantial interest in the subject matter of the lawsuit and in having its winning bid honored and a logging permit issued. *See, e.g., Kleissler v. U.S. Forest Serv.*, 157 F.3d 964, 972 (3d Cir. 1998) (stating that "[t]imber companies have direct and substantial interests in a lawsuit aimed at halting logging"); *see also Natural Resources Defense Council v. U.S. Nuclear Regulatory Comm'n*, 578 F.2d 1341, 1343–44 (10th Cir. 1978) (holding that applicants whose license renewals were pending had Rule 24(a)(2) interests where the lawsuit sought to halt the license-issuing process pending preparation of environmental impact statements). *See generally* 7C WRIGHT ET AL., *supra*, § 1908.1, at 309 ("If there is a direct substantial legally protectable interest in the proceedings, it is clear that this requirement of the rule is satisfied.").

Second, the logging company's interest in receiving a logging permit may well be impaired, as a practical matter, by the outcome of the lawsuit. If the USFS loses the lawsuit, it will have to prepare an environmental impact statement before issuing the logging company's permit. This will, at a minimum, delay the logging company's ability to exercise its rights and may, in the long run, mean that no logging permit is ever issued. Intervention of right is not limited to those that would be legally bound as a matter of preclusion doctrine. *Id.* § 1908.2, at 368. Rather, "[t]he rule is satisfied whenever disposition of the present action would put the movant at a practical disadvantage in protecting its interest." *Id.* § 1908.2, at 369. Here, that condition is easily satisfied. *See Kleissler*, 157 F.3d at 972 ("Timber companies have direct and substantial interests in a lawsuit aimed at halting logging . . .").

Given that the logging company has an interest that may be impaired by disposition of the action, it should be allowed to intervene unless the court is persuaded that the USFS adequately represents the logging company's interest. *See* Rule 24(a)(2); 7C WRIGHT ET AL., *supra*, § 1909. Here, it could be argued that the USFS adequately represents the logging company's interest because the USFS presumably wants the court to uphold its development plan and allow it to proceed with issuance of the logging permit, which is the same relief that the logging company would seek. However, whether representation is truly adequate depends upon "[a] discriminating appraisal of the circumstances." 7C WRIGHT ET AL., *supra*, § 1909, at 440. Although both the government and the logging company wish to avoid the preparation of an environmental impact statement, their interests are distinct. The USFS's interest is proper management of the national forest system, while the logging company's interest is making a profit from logging the 5,000-acre tract. The USFS's handling of the litigation is likely to be affected by a variety of policy concerns and political considerations that have nothing to do with the logging company's purely economic interest in securing the right to cut trees in the Scenic National Forest. *See, e.g., Kleissler*, 157 F.3d at 973–74 ("[T]he government represents numerous complex and conflicting interests in matters of this nature. The straightforward business interests asserted by intervenors here may become lost in the thicket of sometimes inconsistent governmental policies.").

[NOTES: (1) Examinees who mistakenly analyze the logging company's case for joinder under the related but incorrect Rule 19 "Required Joinder of Parties" may receive credit. Rule 19 allows existing parties to demand joinder of non-parties (or seek dismissal of the case if they can't get it). There is a close relationship between Rule 24 and Rule 19 and both contain a similar standard for determining when "interested" third parties are "entitled" or "required" to be in the lawsuit. Indeed, the two prongs of the Rule 24 intervention test that are discussed above are nearly

identical to the two prongs of the Rule 19(a) required joinder test. Examinees who discuss and apply the test should receive credit even if they cite Rule 19 rather than Rule 24.

(2) Examinees may discuss permissive joinder. Although permissive joinder is a possibility here, the question asks only whether the logging company can join the action as a matter of right, and a permissive joinder analysis is not responsive to the question. To the extent an examinee discusses permissive joinder, the analysis will focus on whether the logging company “has a claim or defense that shares with the main action a common question of law or fact.” FED. R. CIV. P. 24(b)(1)(B). The district court also “must consider whether the intervention will unduly delay or prejudice the adjudication of the original parties’ rights.” FED. R. CIV. P. 24(b)(3). On our facts, the logging company’s claim for the issuance of a logging permit would certainly share common questions of law and fact with the USFS’s defense against the nonprofit’s claim. There are no facts suggesting that the logging company’s presence would unduly delay or otherwise prejudice adjudication of the original action. Thus, the district court would have discretion to permit the logging company to intervene even if it denied intervention of right.]

Point Two(a) (25%)

The nonprofit organization could seek and would likely obtain a temporary restraining order to stop the USFS from issuing a logging permit, pending a hearing on an application for a preliminary injunction.

The first type of interim relief the nonprofit could seek to stop the USFS from issuing a logging permit to the logging company is a temporary restraining order (TRO) prohibiting the USFS from issuing the logging permit. A TRO can be issued without notice to the adverse party, but only in limited circumstances and only for a limited time. FED. R. CIV. P. 65(b). To secure a TRO without notice, the nonprofit would need to submit an affidavit containing specific facts that demonstrate a risk of “immediate and irreparable injury” if a permit is issued. FED. R. CIV. P. 65(b)(1). In deciding whether to grant a TRO, courts will also consider the same factors that are relevant in deciding whether to grant a preliminary injunction (e.g. the moving party’s likelihood of success on the merits, the balance of hardships, and the public interest). *See* Point Two(b), *infra*. The TRO would last only long enough for the court to consider and resolve a request by the nonprofit for a preliminary injunction, but no longer than 14 days (unless the court extends it for good cause or the adverse party consents to an extension). In addition, bond is required.

Here, the court is likely to grant the nonprofit’s request. The nonprofit could plausibly claim that cutting down 5,000 acres of old-growth forest in an area that is home to the highest concentration of wildlife in the western United States would have “an immediate and irreparable” adverse impact on the environment and cause irreparable harm to the nonprofit’s interest in preserving and protecting natural resources, including wildlife habitat.

Point Two(b) (25%)

The nonprofit could also seek, and would likely obtain, a preliminary injunction to stop the USFS, which is likely to be granted if the nonprofit’s claim that the USFS violated NEPA has a strong basis in fact and law.

Because the TRO would be temporary, the nonprofit would need to move for a preliminary injunction to prevent the USFS from issuing a logging permit throughout the pendency of the litigation. Preliminary injunctions are injunctions that seek to “protect [the] plaintiff from

irreparable injury and to preserve the court's power to render a meaningful decision after a trial on the merits." 11A CHARLES ALAN WRIGHT ET AL., *FEDERAL PRACTICE AND PROCEDURE* § 2947, at 112 (2013). Rule 65 of the Federal Rules of Civil Procedure sets out the procedural requirements for preliminary injunctions. Preliminary injunctions may be granted only upon notice to the adverse party, FED. R. CIV. P. 65(a)(1), and only if the movant "gives security in an amount that the court considers proper to pay the costs and damages sustained by any party found to have been wrongfully enjoined or restrained." FED. R. CIV. P. 65(c).

While Rule 65 sets out the procedural requirements for preliminary injunctive relief, it does not specify the substantive grounds upon which it may be granted. The court's discretion in ruling upon a motion for a preliminary injunction "is exercised in conformity with historic federal equity practice." 11A WRIGHT ET AL., *supra*, § 2947, at 114. The court typically considers four factors:

- (1) the significance of the threat of irreparable harm to the plaintiff if the injunction is not granted,
- (2) the balance between this harm and the injury that granting the injunction would inflict on the defendant,
- (3) the probability that the plaintiff will succeed on the merits, and
- (4) the public interest.

Id. § 2948, at 122–24; *accord Habitat Educ. Center v. Bosworth*, 363 F. Supp. 2d 1070, 1088 (E.D. Wis. 2005). The most important of these factors is the risk of irreparable harm to the plaintiff. 11A WRIGHT ET AL., *supra*, § 2948.1, at 129. If the plaintiff has an adequate remedy at law (e.g., if money damages can compensate the plaintiff for its loss), then a preliminary injunction will be denied. *Id.* § 2948.1.

Here, a court would likely conclude that the potential for environmental damage to the forest creates a significant threat of irreparable harm. "[E]nvironmental injury is often irreparable. . . . Courts have recognized that logging such as would occur [here] can have long-term environmental consequences and thus satisfy the irreparable injury criterion." *Habitat Educ. Center*, 363 F. Supp. 2d at 1089 (citing *Idaho Sporting Congress, Inc. v. Alexander*, 222 F.3d 562, 569 (9th Cir. 2000) (noting that the imminent and continuing logging activities presented "evidence of environmental harm . . . sufficient to tip the balance in favor of injunctive relief")); *Neighbors of Cuddy Mountain v. U.S. Forest Service*, 137 F.3d 1372, 1382 (9th Cir. 1998) (stating that "[t]he old growth forests plaintiffs seek to protect would, if cut, take hundreds of years to reproduce") (internal citation omitted)); *see also* 11C WRIGHT ET AL., *supra*, § 2948.1, at 151 (noting that "a preliminary injunction has been issued to prevent harm to the environment").

The second factor, the balance between the harm to the plaintiff and the harm the defendant will suffer if the injunction is issued, also appears to support issuance of a preliminary injunction here. The USFS will have to wait before it can develop the Scenic National Forest, and the logging company may lose money if the delay is prolonged. These economic harms could be compensated monetarily if an injunction is issued inappropriately. Where "an injunction bond can compensate [the] defendant for any harm the injunction is likely to inflict, the balance should be struck in favor of [the] plaintiff." *Id.* § 2948.2, at 192. *See also Habitat Educ. Center*, 363 F. Supp. 2d at 1089 (stating that "the relative absence of harmful effects on the Forest Service weighs in favor of granting the injunction").

The third factor is the likelihood that the plaintiff will prevail on the merits. Although there is limited information concerning the merits of the action, the nonprofit alleges that the federal statute (NEPA) requires an environmental impact statement and further states that the USFS created *no* environmental impact analysis or statement at all. Assuming that those allegations are

correct, it seems plausible to conclude that the nonprofit will be able to show a likelihood of success on the merits.

Finally, courts deciding whether or not to issue preliminary injunctive relief are to consider the public interest. “Focusing on this factor is another way of inquiring whether there are policy considerations that bear on whether the order should issue.” 11C WRIGHT ET AL., *supra*, § 2948.4, at 214. If the court concludes that the nonprofit is likely to succeed on its NEPA claim because the USFS wrongfully failed to conduct an environmental impact assessment, it is likely to find that the public interest would be served by restraining the USFS from proceeding with logging in a national forest. *See Heartwood, Inc. v. U.S. Forest Service*, 73 F. Supp. 2d 962, 979 (S.D. Ill. 1999), *aff’d on other grounds*, 230 F.3d 947 (7th Cir. 2000) (“violations by federal agencies of NEPA’s provisions as established by Congress harm the public as well as the environment”).

Thus, a court is very likely to grant a preliminary injunction if it concludes that the nonprofit has a significant likelihood of success on the merits.

EVIDENCE ANALYSIS

(Evidence I.D.; II.A. & C.)

ANALYSIS

Legal Problems

(1) Under what circumstances can evidence of prior convictions be used to impeach a witness's credibility in a civil case?

(1)(a) May the inmate's credibility be impeached by evidence of a 12-year-old felony drug conviction, if he was released from prison 9 years ago?

(1)(b) May the inmate's credibility be impeached by evidence of an 8-year-old misdemeanor perjury conviction that was punishable by 1 year in jail, if he pleaded guilty and was sentenced only to pay a \$5,000 fine?

(1)(c) May the inmate's credibility be impeached by evidence of a 7-year-old sexual assault conviction if the inmate is still serving a 10-year prison sentence and the victim was his 13-year-old daughter?

(2)(a) May the guard's credibility be impeached by cross-examination regarding specific instances of misconduct (i.e., lying on his résumé) relevant to credibility?

(2)(b) May the guard's credibility be impeached by admission of extrinsic evidence (his résumé and academic transcript) offered to prove specific instances of misconduct relevant to credibility?

DISCUSSION

Summary

Under the Federal Rules of Evidence, witnesses can be impeached with evidence of prior convictions and/or specific instances of misconduct. Whether evidence of prior convictions should be admitted to impeach generally depends on the nature of the crime, the amount of time that has passed, and (only in criminal cases) whether the "witness" is the defendant. FED. R. EVID. 609(a).

In this civil case, evidence of the inmate's conviction for distribution of marijuana should be admitted to impeach the inmate because he was convicted of a felony and was released from prison fewer than 10 years ago. FED. R. EVID. 609(a)(1). Credibility is critically important in this case because the jury will hear conflicting testimony from the two disputing parties and there were no other eyewitnesses to the altercation. Under Rule 609(a)(1), the inmate's conviction should be admitted because it has some bearing on his credibility and its probative value is not substantially outweighed by concerns of unfair prejudice, confusion, or delay. *Id.*

Evidence of the inmate's misdemeanor conviction for perjury must be admitted because the crime "required proving—or the witness's admitting—a dishonest act or false statement" by the inmate. FED. R. EVID. 609(a)(2).

Evidence of the inmate's felony conviction for sexual assault should be excluded because its probative value is substantially outweighed by the danger of unfair prejudice to the inmate

Evidence Analysis

based on the heinous nature of the crime. FED. R. EVID. 609(a)(1). In the alternative, the judge could limit the evidence relating to this conviction by excluding details of the inmate's crime.

In all civil (and criminal) cases, witnesses can also be impeached with evidence of specific instances of prior misconduct that did not result in a conviction. FED. R. EVID. 608(b). Pursuant to Rule 608(b), misconduct probative of untruthfulness can be inquired into on cross-examination but cannot be proved through extrinsic evidence. *Id.* Thus, the inmate's counsel should be permitted to cross-examine the guard regarding the false statement in the guard's résumé. However, extrinsic evidence of the guard's misconduct (i.e., the guard's authenticated résumé and transcript from the local college) should not be admitted, even if the guard denies wrongdoing or refuses to answer cross-examination questions about these matters. *Id.*

Point One (10%)

The Federal Rules of Evidence permit impeachment of witnesses with evidence of prior convictions.

Whether convictions should be admitted to impeach generally depends on the nature of the crime, the amount of time that has passed, and (only in criminal cases) whether the "witness" is the defendant. FED. R. EVID. 609(a). Under Rule 609(a), evidence of prior convictions may be admitted for the purpose of "attacking a witness's character for truthfulness." *Id.*

There are two basic types of convictions that can be admitted for the purpose of impeachment:

- (1) convictions for crimes "punishable by death or by imprisonment for more than one year" (which generally correlates to "felonies"), FED. R. EVID. 609(a)(1); and
- (2) convictions "for any crimes regardless of the punishment . . . if the court can readily determine that establishing the elements of the crime required proving—or the witness's admitting—a dishonest act or false statement." FED. R. EVID. 609(a)(2).

Pursuant to Rule 609(a)(1), in civil cases, the admission of evidence of a felony conviction is "subject to Rule 403 [which says that a court may exclude relevant evidence if its probative value is substantially outweighed by other factors]." FED. R. EVID. 609(a)(1). However, Rule 403 does not protect the witness against admission of prior convictions involving dishonesty—which *must* be admitted by the court. FED. R. EVID. 609(a)(2).

Finally, Federal Rule of Evidence 609(b) contains the presumption that a conviction that is more than 10 years old, or where more than 10 years has passed since the witness's release from confinement (whichever is later), should *not* be admitted unless "its probative value, supported by specific facts and circumstances, substantially outweighs its prejudicial effect" and the proponent has provided the adverse party with reasonable written notice. FED. R. EVID. 609(b).

Point One(a) (25%)

The court should admit evidence of the inmate's 12-year-old felony marijuana distribution conviction.

The inmate's conviction for marijuana distribution was for a felony punishable by imprisonment for more than one year. *See* FED. R. EVID. 609(a)(1). Moreover, although the conviction was 12 years ago, the 10-year time limit of Rule 609(b) is not exceeded because that time limit runs

from the date of either “the witness’s conviction or release from confinement for it, whichever is later.” FED. R. EVID. 609(b). Because the inmate served three years in prison, he was released from confinement nine years ago.

However, pursuant to Rule 609(a)(1), the admission of felony convictions to impeach a witness in a civil case is “subject to Rule 403.” FED. R. EVID. 609(a)(1). Neither Rule 609(a) nor the advisory committee notes specify which factors courts should consider when balancing the probative value of a conviction against the dangers identified in Rule 403 (which include (1) unfair prejudice, (2) confusion of the issues, (3) misleading the jury, (4) waste of time or undue delay, and (5) needless presentation of cumulative evidence). FED. R. EVID. 403.

In this case, credibility is very important because the evidence consists primarily of the testimony of the disputing parties and there were no other eyewitnesses to the altercation. This enhances the probative value of any evidence bearing on the inmate’s credibility. A court is likely to conclude that the inmate’s prior felony drug conviction is relevant to his credibility. *See, e.g., United States v. Brito*, 427 F.3d 53, 64 (1st Cir. 2005) (“Prior drug-trafficking crimes are generally viewed as having some bearing on veracity.”). Although the probative value of any conviction diminishes with age, *see, e.g., United States v. Brewer*, 451 F. Supp. 50, 53 (E.D. Tenn. 1978), the inmate’s ongoing problems with the law suggest that he has continued (and even escalated) his criminal behavior over the past nine years. The court should admit this evidence because its probative value is not substantially outweighed by any Rule 403 concerns. Specifically, any prejudice to the inmate would be slight because the conviction is unrelated to the altercation at issue and the conviction was not for a heinous crime that might inflame the jury.

[NOTE: Whether an examinee identifies the jury instruction as containing a “conclusive” or “mandatory” presumption is less important than the examinee’s analysis of the constitutional infirmities.]

Point One(b) (15%)

The court must admit evidence of the inmate’s eight-year-old misdemeanor conviction because perjury is a crime of dishonesty.

Rule 609(a)(2) provides that evidence of a criminal conviction “must be admitted if the court can readily determine that establishing the elements of the crime required proving—or the witness’s admitting—a dishonest act or false statement.” FED. R. EVID. 609(a)(2). The inmate’s conviction for perjury would have necessarily required proving that the inmate engaged in an act of dishonesty. This conviction occurred within the past 10 years, so it “*must* be admitted” because, in contrast to Rule 609(a)(1) (discussed in Point One(a)), admission under Rule 609(a)(2) is mandatory and not subject to Rule 403.

Point One(c) (20%)

The court should exclude evidence of the inmate’s seven-year-old felony sexual assault conviction because the probative value of this evidence is substantially outweighed by the danger of unfair prejudice. In the alternative, the details of the prior conviction could be excluded.

The inmate’s conviction for felony sexual assault was seven years ago, and he has not yet been released from incarceration, so Rule 609(a) but not 609(b) is applicable here. FED. R. EVID. 609(a). This conviction is therefore admissible to impeach the inmate, unless its probative value is substantially outweighed by the danger of unfair prejudice or any other Rule 403 concern. *Id.* Sex crimes are generally *not* considered relevant to credibility, *see Hopkins v. State*, 639 So. 2d 1247,

1254 (Miss. 1993), so the probative value of this conviction is relatively low. Moreover, the heinous nature of the inmate's crime (sexual assault on his daughter) makes the danger of unfair prejudice to the inmate very high. Thus, the court should exclude evidence of the conviction because it was for a heinous offense that is likely to inflame the jury and it has little bearing on credibility. *See, e.g., United States v. Beahm*, 664 F.2d 414, 419 (4th Cir. 1981).

As an alternative to excluding this evidence, the judge could minimize the unfair prejudice to the inmate by permitting limited cross-examination but refusing to allow specific questions about the nature of the inmate's conviction. For example, a court could limit cross-examination to the fact that the inmate was convicted of a "felony" or perhaps that he was convicted of a "sexual assault" without identifying the victim. However, because evidence of the inmate's prior convictions can be admitted solely for the purpose of enabling the jury to assess his credibility and because his two earlier convictions should have already been admitted, the court should exclude all evidence of the felony sexual assault conviction.

Point Two(a) (15%)

The court should permit the inmate's counsel to cross-examine the guard regarding the false statement in his résumé because the guard's misconduct bears on his truthfulness.

The inmate wishes to cross-examine the guard about his prior dishonest behavior—lying on his résumé—that did not involve a criminal conviction. Rule 608(b) allows witnesses to be cross-examined about specific instances of prior non-conviction misconduct probative of untruthfulness "in order to attack . . . the witness's character for truthfulness." FED. R. EVID. 608(b).

The court's decision to allow cross-examination about the guard's prior dishonest behavior depends on the probative value of such evidence balanced against the danger of unfair prejudice to the guard or any other Rule 403 concern. FED. R. EVID. 403. Here, the guard's false statement on his résumé that he obtained a degree in Criminal Justice is highly probative of his untruthfulness because it grossly misrepresents his actual academic record, was made recently, and was made with the intent to deceive. Because the probative value of this evidence is very strong and is not substantially outweighed by any Rule 403 concerns, cross-examination of the guard on this topic should be permitted. The court may also consider it fair to permit this cross-examination of the guard on these matters, assuming that one or more of the inmate's prior convictions have been admitted to impeach his credibility.

Point Two(b) (15%)

The court should exclude extrinsic evidence of the guard's non-conviction misconduct, even if the guard denies wrongdoing or refuses to answer questions about the matter.

Although Rule 608(b) allows cross-examination about specific instances of prior misconduct probative of untruthfulness, "extrinsic evidence" offered to prove such misconduct is not admissible. FED. R. EVID. 608(b). The rationale for this rule is that allowing the introduction of extrinsic evidence of prior misconduct by witnesses, when these acts are relevant *only* to the witnesses' truthfulness and not to the main issues in the case, would create too great a risk of confusing the jury and unduly delaying the trial. The court does not have discretion to admit this extrinsic evidence. *See, e.g., United States v. Elliot*, 89 F.3d 1360, 1368 (8th Cir. 1996).

Here, the inmate's counsel may cross-examine the guard about the false statement on his résumé. However, the inmate's counsel must accept the guard's response. Even if the guard denies

wrongdoing or refuses to answer questions about the matter, the inmate's counsel cannot introduce the guard's résumé or the transcript from the local college to prove the guard's misconduct.

CORPORATIONS ANALYSIS

(Corporations V.A.2.; IX.)

ANALYSIS

Legal Problems

- (1) Do shareholders have the authority to amend a corporation's bylaws with respect to director nominations?
- (2) Do board-approved bylaws on a particular subject, here nomination of directors, preempt subsequent conflicting bylaw amendments by shareholders?
- (3) Is a suit challenging both management's refusal to include the proposed bylaw amendment in Mega's proxy statement and the board's amendment of the bylaws dealing with nomination of directors a direct or derivative suit?

DISCUSSION

Summary

The voting and litigation rights of the shareholders of Mega are subject to the provisions of the Model Business Corporations Act (MBCA).

The investor's proposed bylaw provision is not inconsistent with state law. Under the MBCA, shareholders may amend the bylaws when the amendment deals with a proper matter for the corporation's bylaws, such as procedures for nominating directors.

The Mega board's bylaw amendment does not preempt the investor's proposed bylaw provision or the Mega shareholders' power to approve it. While shareholders can limit the board's power to amend or repeal the bylaws, the board cannot limit the shareholders' power.

Whether the investor must make a demand on Mega's board depends on how the investor frames its claim. If the investor claims a violation of shareholder voting rights, the claim is direct and pre-suit demand on the board is not required. If, on the other hand, the investor claims that the directors violated their fiduciary duties by amending the bylaws to entrench themselves, the claim is derivative and a pre-suit demand is required.

Point One (30%)

Shareholders may amend the corporation's bylaws where the proposed bylaw provision relates to procedural matters typically included in the bylaws, such as the nomination of directors.

Internal affairs of the corporation, such as the conduct of shareholder meetings and election of directors, are subject to the corporate law of the state of incorporation. *See McDermott Inc. v. Lewis*, 531 A.2d 206 (Del. 1987) (applying law of jurisdiction where corporation was incorporated in case involving voting rights). This state's corporate statute is modeled on the MBCA.

Under the MBCA, "shareholders may amend . . . the corporation's bylaws." MBCA § 10.20(a). Thus, the only question is whether the bylaws can specify the procedures for shareholder nomination of directors.

The MBCA states that the bylaws “may contain any provision that is not inconsistent with law or the articles of incorporation.” MBCA § 2.06(b). In addition, the MBCA was revised in 2009 to address shareholder nomination of directors in public corporations (known as “proxy access”) and specifies that the bylaws “may contain . . . a requirement that . . . the corporation include in its [proxy materials] one or more individuals nominated by a shareholder.” MBCA § 2.06(c)(1); *see* Committee on Corporate Laws, ABA Section of Business Law, *Report on the Roles of Boards of Directors and Shareholders of Publicly Owned Corporations and Changes to the Model Business Corporations Act—Adoption of Shareholder Proxy Access Amendments to Chapters 2 and 10*, 65 BUS. LAWYER 1105 (2010).

The inclusion of director-nomination procedures in the bylaws is consistent with practice and is recognized by the Delaware courts, whose views on corporate law carry significant weight. Typically, the procedures for nomination of directors are found in the bylaws. *See* 1 COX & HAZEN, TREATISE ON THE LAW OF CORPORATIONS § 3.12 (3d ed. 2011); *see also* 4 FLETCHER, CORP. FORMS ANN. PART III, ch. 21 (2013) (including sample bylaws that permit nomination of directors by shareholders). The Delaware Supreme Court has confirmed that the bylaws may “define the process and procedures” for director elections. *See CA, Inc. v. AFSCME Employees Pension Plan*, 953 A.2d 227 (Del. 2008) (concluding that bylaw amendment requiring reimbursement of election expenses to certain successful shareholder nominators is “proper subject” under Delaware law).

[NOTE: The question of the proper scope of the bylaws can be answered using the more general MBCA § 2.06(b) or the 2009 MBCA revision adding § 2.06(c)(1) (adopted in CT, ME, VA). In addition, some examinees might raise the point that shareholder proposals may not compel the board to take action, such as by including shareholder nominations in the company’s proxy materials, on the theory that the “business and affairs” of the corporation are to be managed by the board. *See* MBCA § 8.01(b). Although shareholders are generally limited to adopting precatory resolutions that recommend or encourage board action, this limitation does not apply when shareholders have specific authority to take binding action on their own—such as to amend the bylaws.]

Point Two (30%)

Shareholders can amend (or repeal) board-approved bylaws. Further, shareholders can limit the board’s power to later amend and repeal a shareholder-approved bylaw.

Under the MBCA, shareholders have the power to amend the bylaws. *See* Point One. The board shares this power with the shareholders, unless (1) the corporation’s articles “reserve that power exclusively to the shareholders” or (2) “the shareholders in amending, repealing, or adopting a bylaw expressly provide that the board of directors may not amend, repeal, or reinstate that bylaw.” *See* MBCA § 10.20(b).

Shareholder-approved bylaw provisions can amend or repeal existing bylaw provisions, whether originally approved by the board or by shareholders. *See* ALAN R. PALMITER, CORPORATIONS: EXAMPLES AND EXPLANATIONS § 7.1.3 (7th ed. 2012). Thus, the Mega board’s bylaw amendment—which set more demanding thresholds for shareholder nomination of directors than the investor’s proposed bylaw provision—would be superseded (repealed) if Mega’s shareholders were to approve the investor’s proposal.

Further, a shareholder-approved bylaw generally can limit the power of the board to later amend or repeal it. *See* MBCA § 10.20(b)(2). Thus, if Mega’s shareholders approved the bylaw

provision proposed by the investor, Mega's board could not repeal the provision because it includes a "no board repeal" clause.

The revision to the MBCA in 2009 dealing with shareholder proxy access does not change this conclusion. That revision specifies that a shareholder-approved bylaw dealing with director nominations may not limit the board's power to amend, add, or repeal "any procedure or condition to such a bylaw in order to provide for a reasonable, practicable and orderly process." MBCA § 2.06(d). Thus, according to the revision, if shareholders approve a bylaw amendment that limits further board changes, the board would nonetheless retain the power to "tinker" with the bylaw to safeguard the voting process, but could not repeal the shareholder-approved bylaw. The Official Comment to MBCA § 2.06(d) makes clear that the revision is "not intended to allow the board of directors to frustrate the purpose of the shareholder-adopted proxy access . . . provision." Thus, if Mega's shareholders were to approve the bylaw provision proposed by the investor, Mega's board could only amend the provision regarding its procedures or conditions in a manner consistent with its purpose of permitting proxy access for Mega's shareholders.

[NOTE: The board's attempted interference with a shareholder voting initiative may also have been a violation of the directors' fiduciary duties. *See Blasius Indus., Inc. v. Atlas Corp.*, 564 A.2d 651 (Del. Ch. 1988) (finding that directors breached their fiduciary duties by amending bylaws and expanding size of board to thwart insurgent's plan to amend bylaws and seat a majority of new directors). The call, however, asks examinees to consider whether shareholders or the board have "precedence" over amending the corporate bylaws. Thus, an examinee's answer should be framed in terms of "power" and not "duty."]

Point Three (40%)

The investor need not make a demand on the board if the investor states a direct claim, such as an allegation that the board interfered with the investor's right to amend the bylaws. But the investor must make a demand on the board if the investor states a derivative claim (on behalf of the corporation), such as an allegation that the directors sought to entrench themselves by interfering with the proposed proxy access.

The MBCA generally requires that shareholders make a demand on the board of directors before initiation of a derivative suit. MBCA § 7.42 (shareholder may not bring derivative proceeding until written demand has been made on corporation and 90 days have expired). A derivative suit is essentially two suits in one, where the plaintiff-shareholder seeks to bring on behalf of the corporation a claim that vindicates corporate rights, usually based on violation of fiduciary duties. PALMITER, *supra*, § 18.1.1 (6th ed. 2009). The demand permits the board to investigate the situation identified by the shareholder and take suitable action. No demand on the board is required, however, if the shareholder brings a direct suit to vindicate the shareholder's own rights, not those of the corporation.

Is the suit brought by the investor derivative or direct? The MBCA defines a "derivative proceeding" as one brought "in the right of a domestic corporation." MBCA § 7.40(1). Thus, the answer to how the investor's suit should be characterized turns on what rights the investor seeks to vindicate. If the investor frames its claim as one of fiduciary breach by directors—for example, for failing to become adequately informed about voting procedures or for seeking to entrench themselves in office by manipulating the voting structure to avoid a shareholder insurgency—then the suit is "derivative" and the investor must make a demand on the board. *See* MBCA Ch. 7, Subch. D Introductory Comment ("the derivative suit has historically been the principal method of challenging allegedly illegal action by management").

If, however, the investor frames its claim as one to vindicate shareholder rights, the suit is direct and no demand is required. For many courts, the direct-derivative question turns on who is injured and who is to receive the relief sought by the plaintiff-shareholders. See *Tooley v. Donaldson, Lufkin & Jenrette, Inc.*, 845 A.2d 1031 (Del. 2004) (characterizing a merger-delay claim as direct because delay of merger only harmed shareholders, not corporation). Thus, if the investor claims that management's refusal to include its proposed bylaw amendment in the corporation's proxy materials violates its shareholder rights to initiate corporate governance reforms, the suit will be direct. Courts have not questioned the ability of shareholders to bring direct suits challenging board action to exclude their proposed bylaw amendments from the corporation's proxy materials. See *JANA Master Fund, Ltd. v. CNET Networks, Inc.*, 954 A.2d 335 (Del. Ch. 2008) (upholding shareholder's direct challenge to board's interpretation of advance-notice bylaw); *Chesapeake Corp. v. Shore*, 771 A.2d 293 (Del. Ch. 2000) (upholding shareholder's direct challenge to actions by board that effectively prevented it from proposing bylaw amendments in contest for control).

Is the way that the investor frames its claim conclusive? Courts have permitted shareholder-plaintiffs to challenge a transaction in a direct suit, even though the same transaction could also be challenged as a fiduciary breach. See *Eisenberg v. Flying Tiger Line, Inc.*, 451 F.2d 267 (2d Cir. 1971) (permitting direct suit challenging a corporate reorganization as a dilution of shareholder voting power, even though reorganization may have involved conflicts of interest and thus constituted a fiduciary breach). Thus, the investor's choice to pursue a claim challenging the legality of management's decision to exclude the investor's proposal from the corporation's proxy materials—rather than a possible breach of fiduciary duty—is likely to be respected. See 3 COX & HAZEN, *supra*, § 15.3 (describing situations in which a claim can be framed as derivative or direct).

[NOTE: Some issues under Delaware corporate law regarding pre-suit demand are not relevant here. For example, whether the Mega directors are independent and disinterested is not relevant to the MBCA requirement of a pre-suit demand. As the Official Comment to MBCA § 7.42 points out, the MBCA's requirement of "universal demand" gives the board "the opportunity to reexamine the act complained of in the light of a potential lawsuit and take corrective action," even when the directors might be non-independent or have conflicts of interest.

Nor is it relevant to the MBCA pre-suit demand requirement that the statutory 90-day waiting period may be onerous. The first paragraph of MBCA § 7.42 requires a pre-suit demand without exception; the second paragraph of the section imposes a 90-day waiting period before a derivative suit may be brought, which can be shortened if the board rejects the demand or "irreparable injury to the corporation would result by waiting for the expiration of the 90-day period." The call, as written, asks only whether a pre-suit demand should be made and does not ask examinees to address whether the post-demand waiting period should be shortened under the "irreparable injury" standard.]

February 2015
MEE Questions
and Analyses

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the February 2015 MEE. (In the actual test, the questions are simply numbered rather than being identified by area of law.) The instructions for the test appear on page iii.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, identified by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Constitutional Law question on the February 2015 MEE tested the following areas from the Constitutional Law outline: II.A.3., The separation of powers—The powers of Congress—Power to enforce the 13th, 14th, and 15th Amendments; and IV.C., Individual rights—Equal protection.

For more information about the MEE, including subject matter outlines, visit the NCBE website at www.ncbex.org.

Description of the MEE

The MEE consists of six 30-minute questions and is a component of the Uniform Bar Examination (UBE). It is administered by user jurisdictions as part of the bar examination on the Tuesday before the last Wednesday in February and July of each year. Areas of law that may be covered on the MEE include the following: Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Civil Procedure, Conflict of Laws, Constitutional Law, Contracts, Criminal Law and Procedure, Evidence, Family Law, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Uniform Commercial Code (Secured Transactions). Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusions. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Answer all questions according to generally accepted fundamental legal principles unless your testing jurisdiction has instructed you to answer according to local case or statutory law.

NOTE: Examinees testing in UBE jurisdictions must answer according to generally accepted fundamental legal principles rather than local case or statutory law.

February 2015 MEE Questions

Agency/Torts

Constitutional Law

Secured Transactions

Real Property

Civil Procedure

Decedents' Estates

AGENCY/TORTS QUESTION

For many years, a furniture store employed drivers to deliver furniture to its customers in vans it owned.

Several months ago, however, the store decided to terminate the employment of all its drivers. At the same time, the store offered each driver the opportunity to enter into a contract to deliver furniture for the store as an independent contractor. The proposed contract, labeled “Independent-Contractor Agreement,” provided that each driver would

- (1) provide a van for making deliveries;
- (2) use the van only to deliver furniture for the store during normal business hours and according to the store’s delivery schedule; and
- (3) receive a flat hourly payment based upon 40 work hours per week, without employee benefits.

The proposed Independent-Contractor Agreement also specified that the store would not withhold income taxes or Social Security contributions from payments to the driver.

The store also offered each driver the opportunity to lease a delivery van from the store at a below-market rate. The proposed lease required the driver to procure vehicle liability insurance. It also specified that the store would reimburse the driver for fuel and liability insurance and that the lease would terminate immediately upon termination of the driver’s contract to deliver furniture for the store.

All the drivers who had been employed by the store agreed to continue their relationships with the store and executed both an Independent-Contractor Agreement and a lease agreement for a van.

Three months ago, a driver delivered furniture to a longtime customer of the store during normal business hours. The customer asked the driver to take a television to her sister’s home, located six blocks from the driver’s next delivery, and offered him a \$10 tip to do so. The driver agreed, anticipating that this delivery would add no more than half an hour to his workday.

In violation of a local traffic ordinance, the driver double-parked the delivery van in front of the sister’s house to unload the television. A few minutes later, while the driver was in the sister’s house, a car swerved to avoid the delivery van and skidded into oncoming traffic. The car was struck by a garbage truck, and a passenger in the car was seriously injured.

The passenger has brought a tort action against the store to recover damages for injuries resulting from the driver’s conduct. Pretrial discovery has revealed that delivery vans routinely double-park; survey evidence suggests that, in urban areas like this one, 80% of deliveries are made while the delivery van is double-parked.

In this jurisdiction, there is no law that imposes liability on a vehicle owner for the tortious acts of a driver of that vehicle solely on the basis of vehicle ownership.

Agency/Torts Question

The store argues that it is not liable for the passenger's injuries because (a) the driver is an independent contractor; (b) even if the driver is not an independent contractor, the driver was not making a delivery for the store when the accident occurred; and (c) the driver himself could not be found liable for the passenger's injuries.

1. Evaluate each of the store's three arguments against liability.
2. Assuming that the store is liable to the passenger for the passenger's injuries, what rights, if any, does the store have against the driver? Explain.

CONSTITUTIONAL LAW QUESTION

State A, suffering from declining tax revenues, sought ways to save money by reducing expenses and performing services more efficiently. Accordingly, various legislative committees undertook examinations of the services performed by the state. One service provided by State A is firefighting. The legislative committee with jurisdiction over firefighting held extensive hearings and determined that older firefighters, because of seniority, earn substantially more than younger firefighters but are unlikely to perform as well as their younger colleagues. In particular, exercise physiologists testified at the committee's hearings that, in general, a person's physical conditioning and ability to work safely and effectively as a firefighter decline with age (with the most rapid declines occurring after age 50) and that, as a result, firefighting would be safer and more efficient if the age of the workforce was lowered.

State A subsequently enacted the Fire Safety in Employment Act (the Act). The Act provides that no one may be employed by the state as a firefighter after reaching the age of 50.

A firefighter, age 49, is employed by State A. He is in excellent physical condition and wants to remain a firefighter. His work history has been exemplary for the last two decades. Nonetheless, he has been told that, as a result of the Act, his employment as a firefighter will be terminated when he turns 50 next month.

The firefighter is considering (a) challenging the Act on the basis that it violates his rights under the Fourteenth Amendment's Equal Protection Clause, and (b) lobbying for the enactment of a federal statute barring states from setting mandatory age limitations for firefighters.

1. Does the Act violate the Equal Protection Clause of the Fourteenth Amendment? Explain.
2. Would Congress have authority under Section Five of the Fourteenth Amendment to enact a statute barring states from establishing a maximum age for firefighters? Explain.

SECURED TRANSACTIONS QUESTION

Acme Violins LLC (Acme) is in the business of buying, restoring, and selling rare violins. Acme frequently sells violins for prices well in excess of \$100,000. In addition to restoring violins for resale, Acme also repairs and restores violins for their owners. In most repair transactions, Acme requires payment in cash when the violin is picked up by the customer. It does, however, allow some of its repeat customers to obtain repairs on credit, with full payment due 30 days after completion of the repair. In those cases, the payment obligation is not secured by any collateral and the payment terms are handwritten on the receipt.

Acme maintains a stock of rare and valuable wood that it uses in violin restoration. Acme also owns a variety of tools used in restoration work, including a machine called a “Gambretti plane,” which is used to shape the body of a violin precisely.

Six months ago, Acme borrowed \$1 million from Bank. The loan agreement, which was signed by Acme, grants Bank a security interest in all of Acme’s “inventory and accounts, as those terms are defined in the Uniform Commercial Code.” On the same day, Bank filed a properly completed financing statement in the appropriate state filing office. The financing statement indicated the collateral as “inventory” and “accounts.”

Last week, Acme sold the most valuable violin in its inventory, the famed “Red Rosa,” to a violinist for \$200,000 (the appraised value of the instrument), which the violinist paid in cash. The sale was made by Acme in accordance with its usual practices. The violinist, who has done business with Acme for many years, was aware that Acme regularly borrows money from Bank and that Bank had a security interest in Acme’s entire inventory. The violinist did not, however, know anything about the terms of Acme’s agreement with Bank.

Acme is 15 days late in making the payment currently due on its loan from Bank. Bank’s loan officer, who is worried about Bank’s possible inability to collect the debt owed by Acme, has asked whether the following items of property are collateral that can be reached by Bank as possible sources of payment:

- (1) Acme’s rights to payment from customers for repair services obtained on credit
- (2) Used violins for sale in Acme’s store
- (3) Violins in Acme’s possession that Acme is repairing for their owners
- (4) Wood in Acme’s repair room that Acme uses in repairing violins
- (5) The Gambretti plane, used by Acme in violin restoration
- (6) The Red Rosa violin that was sold to the violinist

Yesterday, a creditor of Acme obtained a judicial lien on all of Acme’s personal property.

1. In which, if any, of the items listed above does Bank have an enforceable security interest? Explain.
2. For the items in which Bank has an enforceable security interest, is Bank’s claim superior to that of the judicial lien creditor? Explain.

REAL PROPERTY QUESTION

Seventeen years ago, a property owner granted a sewer-line easement to a private sewer company. The easement allowed the company to build, maintain, and use an underground sewer line in a designated sector of the owner's three-acre tract. The easement was properly recorded with the local registrar of deeds.

Fifteen years ago, a man having no title or other interest in the owner's three-acre tract wrongfully entered the tract, built a cabin, and planted a vegetable garden. The garden was directly over the sewer line constructed pursuant to the easement the owner had granted to the sewer company. The cabin and garden occupied half an acre of the three-acre tract. The man moved into the cabin immediately after its completion and remained in continuous and exclusive possession of the cabin and garden until his death. However, he did not use the remaining two and one-half acres of the three-acre tract in any way.

Eight years ago, the man died. Under the man's duly probated will, he bequeathed to his sister "all real property in which I have or may have an interest at the time of my death." The man's sister took possession of the cabin and garden immediately after the man's death and remained in exclusive and continuous possession of them for one year, but she, too, did not use the remaining two and one-half acres of the tract.

Seven years ago, the man's sister executed and delivered to a buyer a general warranty deed stating that it conveyed the entire three-acre tract to the buyer. The deed contained all six title covenants. Since this transaction, the buyer has continuously occupied the cabin and garden but has not used the remaining two and one-half acres.

A state statute provides that "any action to recover the possession of real property must be brought within 10 years after the cause of action accrues."

Last month, the property owner sued the buyer to recover possession of the three-acre tract.

1. Did the buyer acquire title to the three-acre tract or any portion of it? Explain.
2. Assuming that the buyer did not acquire title to the entire three-acre tract, can the buyer recover damages from the sister who sold him the three-acre tract? Explain.
3. Assuming that the buyer acquired title to the entire three-acre tract or the portion above the sewer-line easement, can the buyer compel the sewer company to remove the sewer line under the garden? Explain.

CIVIL PROCEDURE QUESTION

MedForms Inc. processes claims for medical insurers. Last year, MedForms contracted with a data entry company (“the company”) to enter information from claims into MedForms’s database. MedForms hired a woman to manage the contract with the company.

A few months after entering into the contract with the company, MedForms began receiving complaints from insurers regarding data-entry errors. On behalf of MedForms, the woman conducted a limited audit of the company’s work and discovered that its employees had been making errors in transferring data from insurance claims forms to the MedForms database.

The woman immediately reported her findings to her MedForms supervisor and told him that fixing the problems caused by the company’s errors would require a review of millions of forms and would cost millions of dollars. In response to her report, the supervisor said, “I knew we never should have hired a woman to oversee this contract,” and he fired her on the spot.

The woman properly initiated suit against MedForms in the United States District Court for the District of State A. Her complaint alleged that she had been subjected to repeated sexual harassment by her supervisor throughout her employment at MedForms and that he had fired her because of his bias against women. Her complaint sought \$100,000 in damages from MedForms for sexual harassment and sex discrimination in violation of federal civil rights law.

After receiving the summons and complaint in the action, MedForms filed a third-party complaint against the company, seeking to join it as a third-party defendant in the action. MedForms alleged that the company’s data-entry errors constituted a breach of contract. MedForms sought \$500,000 in damages from the company. MedForms served the company with process by hiring a process server who personally delivered a copy of the summons and complaint to the company’s chief executive officer at its headquarters.

MedForms is incorporated in State A, where it also has its headquarters and document processing facilities. The woman is a citizen of State A. The company’s only document processing facility is located in State A, but its headquarters are located in State B, where it is incorporated and where its chief executive officer was served with process.

State A and State B each authorize service of process on corporations only by personal delivery of a summons and complaint to the corporation’s secretary.

The company has moved to dismiss MedForms’s third-party complaint for (a) insufficient service of process, (b) lack of subject-matter jurisdiction, and (c) improper joinder.

How should the District Court rule on each of the grounds asserted in the company’s motion to dismiss? Explain.

DECEDENTS' ESTATES QUESTION

A husband and wife were married in 2005.

In 2009, the husband transferred \$600,000 of his money to a revocable trust. Under the terms of the properly executed trust instrument, upon the husband's death all trust assets would pass to his alma mater, University.

In 2012, the husband properly executed a will, prepared by his attorney based on the husband's oral instructions. Under the will, the husband bequeathed \$5,000 to his best friend and the balance of his estate "to my wife, regardless of whether we have children." The husband failed to mention the revocable trust to his attorney during the preparation of this will, and the attorney did not ask the husband whether he had made any significant transfers in prior years.

In 2013, the husband and wife had a daughter.

In 2014, the husband was killed in an automobile accident. After his death, the wife found the husband's will and the revocable trust instrument on his desk. On the first page of the will, beginning in the left-hand margin and extending over the words setting forth the bequests to the husband's best friend and his wife, were the following words: "This will makes no sense, as most of my assets are in the trust for University and neither my wife nor my daughter seems adequately provided for. Estate plan should be changed. Call lawyer to fix." The statement was indisputably in the husband's handwriting. The wife also found a voice message on the phone from the husband's lawyer, which said, "Calling back. I understand you have concerns about your will."

The husband is survived by his wife, their daughter, and the husband's best friend. The assets in the revocable trust are now worth \$900,000. The husband's probate estate is worth \$300,000. He owed no debts at his death.

All the foregoing events occurred in State A, which is not a community property state. State A has enacted all of the customary probate statutes, but of particular relevance to the wife are the following:

- (i) If a decedent dies intestate survived by a spouse and issue, the decedent's surviving spouse takes one-half of the estate and the decedent's surviving issue take the other half.
 - (ii) A revocable trust created by a decedent during the decedent's marriage is deemed illusory and the decedent's surviving spouse is entitled to receive one-half of the trust's assets.
1. How should the assets of the husband's probate estate be distributed? Explain.
 2. How should the assets of the revocable trust be distributed? Explain.

February 2015 MEE Analyses

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AGENCY/TORTS ANALYSIS

(Agency and Partnership III.; IV.A./Torts II.B.2., F.)

ANALYSIS

Legal Problems:

- (1) Is the driver an independent contractor or an employee of the store?
- (2) Did the driver's violation of the store's delivery rules place his act outside the scope of his employment?
- (3) May the driver be found liable to the passenger in the car for personal injuries resulting from his violation of a double-parking ordinance?
- (4) If the store pays damages to the passenger, is it entitled to indemnification from the driver?

DISCUSSION

Summary

The driver is likely to be characterized as an employee, not as an independent contractor, because his conduct was subject to the store's control. Under the *respondeat superior* principle, an employer is liable for the tortious acts of its employee if those acts were performed within the scope of the employee's employment. Here, the driver's violation of the store's delivery rules likely did not place his act outside the scope of his employment because the driver did not deviate substantially from his route and the risks caused by his deviation were not different from the risks inherent in his authorized activities. In virtually all jurisdictions, the driver could be found liable for the passenger's injuries. The driver was negligent in violating a traffic ordinance and the type of harm that occurred, a traffic accident, was among those that the ordinance was aimed to avert. Finally, if the store is found liable for the driver's negligence and pays damages to the passenger, under common law principles the store is entitled to indemnification from the driver because the store was not itself at fault in causing the accident.

Point One (30%)

Although the store characterized the driver as an independent contractor, the store had the right to control his conduct and thus the driver was an employee of the store.

The store can be found liable under these facts if the driver is treated as its employee acting within the scope of his employment. The store is not liable for torts committed by the driver if the store employed him as an independent contractor to deliver furniture. RESTATEMENT (THIRD) AGENCY §§ 2.04 & 7.03; RESTATEMENT (SECOND) AGENCY § 250.

The test of whether a person is an employee is whether the person's "physical conduct in the performance of the services is subject to the [employer's] control or right to control." RESTATEMENT (SECOND) AGENCY § 220(1); *see also* RESTATEMENT (THIRD) AGENCY § 7.07(3)(a) ("[A]n employee is an agent whose principal controls or has the right to control the

manner and means of the agent's performance of work.”). This is generally a question of fact. RESTATEMENT (SECOND) AGENCY § 220 cmt. c. A number of factors are relevant, including the level of skill required to perform the work, who supplies the instrumentalities used, the duration of the relationship, and whether the work is part of the principal's regular business. No single factor is determinative. *See* RESTATEMENT (SECOND) AGENCY § 220; RESTATEMENT (THIRD) AGENCY § 7.07 cmt. f.

Here, the Restatement factors strongly suggest that the store had a right to control the driver's work. First, the job of furniture delivery driver does not require a tremendous amount of skill as compared to occupations such as plumber or electrician that are typically performed by independent contractors. Second, while the “Independent-Contractor Agreement” between the parties required the driver to supply the van used in the deliveries, the store was primarily responsible for the van: the store leased the van to the driver at a below-market rate; the store was responsible for the expenses of operating the van; and the lease terminated upon the termination of the driver's relationship with the store. Third, the driver's relationship with the store was ongoing, indefinite, and substantial; it was not specific to a single delivery or series of deliveries. Fourth, the driver was paid by the hour, not by the job, and worked a regular 40-hour week. Fifth, furniture delivery was a regular part of the store's business. Finally, although the “Independent-Contractor Agreement” between the store and the driver provided that the driver was an independent contractor and had discretion over the means and manner of performing the terms of the contract, “[i]t is not determinative that the parties believe or disbelieve that the relation of [employer] and [employee] exists, except insofar as such belief indicates an assumption of control by the one and submission to control by the other.” RESTATEMENT (SECOND) AGENCY § 220 cmt. m. In sum, the facts strongly suggest that the driver was the store's employee.

[NOTE: The Restatement (Second) of Agency uses the terminology “master” and “servant”; the Restatement (Third) of Agency uses the terminology “employer” and “employee.” This shift in terminology does not affect the analysis. The test is still control of, or the right to control, the performance of the agent's work.]

Point Two (30%)

The driver was acting within the scope of his employment because his conduct was substantially similar to authorized acts, and the driver did not deviate substantially from his route or likely consume a substantial amount of time by deviating.

If the driver is characterized as an employee instead of an independent contractor, the store will be liable for the driver's tortious conduct only if it occurred within the scope of his employment. RESTATEMENT (SECOND) AGENCY § 219(1); RESTATEMENT (THIRD) AGENCY § 7.07(1). Whether an employee was acting within the scope of his employment is generally a question of fact. RESTATEMENT (SECOND) AGENCY § 228 cmt. d. An employee's conduct is within the scope of his employment if (1) it is of the kind that the employee is employed to perform; (2) it occurs substantially within the authorized time and space limits; and (3) it is motivated, at least

in part, by a purpose to serve the employer. RESTATEMENT (SECOND) AGENCY § 228(1)(a)–(c); *see also* RESTATEMENT (THIRD) AGENCY § 7.07(2) (“An employee acts within the scope of employment when performing work assigned by the employer or engaging in a course of conduct subject to the employer’s control.”). The fact that the act was not authorized is not determinative. *Id.*

Here, it is highly likely that the driver will be found to have been acting within the scope of his employment. First, the conduct that caused the accident, parking, was exactly the kind of conduct that the driver was employed to perform, and the risks of double-parking were characteristic of those his employment entailed. *See Ira S. Bushey & Sons v. United States*, 398 F.2d 167 (2d Cir. 1968). Second, the time and space deviations from his authorized activities were not substantial: the driver drove a mere six blocks out of the way; he did so during regular business hours; and as an experienced furniture delivery person, the driver would probably have used no more than half an hour for the deviation. Finally, the driver may have been motivated at least in part by a desire to serve the store. The driver may have believed that making the delivery of the television for a longtime customer would generate goodwill for the store. In sum, the delivery of the television appears to have been a minor detour that did not take the driver out of the scope of employment. *Cf.* RESTATEMENT (THIRD) AGENCY § 7.07(2) (“An employee’s act is not within the scope of employment when it occurs within an independent course of conduct *not intended by the employee to serve any purpose of the employer.*”) (emphasis added).

[NOTE: While the formulation of the scope of employment doctrine in the Restatement (Third) of Agency “is phrased in more general terms” than in the Restatement (Second), the drafters state that the definition “reflects the definition of scope of employment applied in most cases and in most jurisdictions.” RESTATEMENT (THIRD) AGENCY § 7.07 cmt. b. In sum, the results under both formulations should be similar.]

Point Three (25%)

The driver may be found negligent per se in causing the passenger’s injuries because a purpose of the double-parking prohibition was almost certainly to prevent traffic accidents. The fact that the driver’s violation of the statute conformed to custom does not alter this conclusion.

“An actor is negligent if, without excuse, the actor violates a statute that is designed to protect against the type of accident the actor’s conduct causes, and if the accident victim is within the class of persons the statute is designed to protect.” RESTATEMENT (THIRD) OF TORTS: LIABILITY FOR PHYSICAL AND EMOTIONAL HARM § 14 (2010). Health and safety statutes, like traffic ordinances, are typically deemed to protect the public at large. *See* RICHARD A. EPSTEIN, TORTS 150 (1999).

In order to make use of a statutory standard to establish negligence, the plaintiff must show that the type of injury is one the statute is aimed against. However, “courts are astute at finding multiple and subsidiary statutory purposes.” EPSTEIN, *supra*, at 151. Here, the double-parking ordinance was almost certainly aimed at preventing both traffic congestion and damage resulting from traffic accidents; vehicles parked in the path of moving traffic are a hazard that forces

drivers into lanes of oncoming traffic. The damage resulting from traffic accidents includes personal injuries, so the passenger's injuries involve the right type of harm.

The fact that the driver's actions conformed to custom does not mean that he cannot be found negligent; "there are precautions so imperative that even their universal disregard will not excuse their omission." *The T.J. Hooper*, 60 F.2d 737, 740 (2d Cir. 1932). Courts have sometimes read into statutes customary exceptions to a custom embodied by the statute. See *Tedla v. Ellman*, 19 N.E.2d 987, 989 (N.Y. 1939) (interpreting statute that required pedestrians to walk on the left—the common-law custom—to include the common-law exception which required pedestrians to walk with the traffic when traffic coming from behind was much lighter than oncoming traffic). They have done so on the theory that a legislature would not have intended to decree that individuals should follow a general rule of conduct "even under circumstances where observance would subject them to unusual risk." *Id.* Here, there is no evidence that double-parking was a safer alternative than parking legally or that the driver was following any custom dictated by safety concerns. Therefore, a jury could properly conclude that the driver was negligent per se in violating the double-parking ordinance and that the driver's negligence was the legal cause of the passenger's injuries.

Point Four (15%)

If the driver's negligence subjects the store to liability and the store pays damages to the passenger, under the common law the store is entitled to indemnification from the driver because there is no evidence that the store itself engaged in tortious conduct related to the passenger's injuries.

Indemnification (*full* reimbursement for damages paid to the plaintiff) is available to a tort defendant who has paid the plaintiff's damage award when, as between the paying and nonpaying defendants, the paying defendant was not at fault in causing the plaintiff's injuries and the nonpaying defendant was at fault. By contrast, a joint tortfeasor who was at fault in causing the plaintiff's injuries is entitled only to contribution, i.e., *partial* reimbursement for damages paid to the plaintiff. See EPSTEIN, *supra*, at 235–36. A classic case in which indemnification is appropriate is that of an employer, like the store, who is liable to the plaintiff based solely on the principle of *respondeat superior*. See *id.* at 236–39.

Consequently, if the store is required to pay damages to the passenger, the driver will be liable to the store for the amount paid.

[NOTE: In some states, this common law principle has been modified by statutes or court decisions that prevent employers from seeking indemnification from employees in certain circumstances.]

[NOTE: An examinee who concludes that the store's delivery drivers routinely double-parked, and that the store had actual or implied notice of that practice, should conclude that the store could be found negligent and that contribution but not indemnification would be available to the store.]

CONSTITUTIONAL LAW ANALYSIS

(Constitutional Law II.A.3.; IV.C.)

ANALYSIS

Legal Problems:

- (1) Does the Act violate the Equal Protection Clause of the Fourteenth Amendment?
- (2) Would Congress have authority under Section Five of the Fourteenth Amendment to enact a statute barring states from establishing a maximum age for firefighters?

DISCUSSION

Summary

The lowest level of equal protection scrutiny—so-called “rational basis” scrutiny—applies when a state government engages in age-based discrimination. The question is whether the distinctions drawn by the Act on the basis of age are rationally related to a legitimate governmental purpose. The court is likely to answer that question in the affirmative because safe and efficient firefighting is a legitimate governmental purpose and, in light of the legislative committee’s findings, the Act is rationally related to that purpose.

With respect to Congress’s power to enact a statute barring states from establishing a maximum age for firefighters, Congress has the power to enforce the Fourteenth Amendment pursuant to its powers under Section Five of the Fourteenth Amendment. However, Congress can exercise its authority only if it does so in a way that is “congruent and proportional” to any constitutional violation that it may be addressing. A federal statute prohibiting states from having a mandatory retirement age for firefighters would not meet that standard. The statute would be unconstitutional because it would ban conduct by a state that is not itself unconstitutional and that is not related to any constitutional violations by the state.

Point One (50%)

A court would assess the constitutionality of the Act under the “rational basis” test. Here, the state has a “legitimate interest” in promoting safe and efficient firefighting, and lowering the retirement age is “rationally related” to achieving this interest. Thus, a court is likely to conclude that State A has not violated the Equal Protection Clause of the Fourteenth Amendment.

The applicable constitutional provision is the Equal Protection Clause of the Fourteenth Amendment, which states: “Nor shall any State . . . deny to any person within its jurisdiction the equal protection of the laws.” Amend. XIV, Sec. 1. The allegedly unconstitutional discrimination is age-based discrimination because employees like the firefighter cannot continue as firefighters once they reach 50 years of age.

The Supreme Court has developed three levels of scrutiny for equal protection claims: strict, intermediate, and the lowest, “rational basis.” The Court has consistently applied rational basis scrutiny to age-based classifications. *See Massachusetts Bd. of Retirement v. Murgia*, 427 U.S.

307 (1976) (upholding 50-year-old retirement age for state police); *Kimel v. Florida Bd. of Regents*, 528 U.S. 62 (2000) (applying rational basis review to age-based classification).

Under the rational basis test, the issues are whether State A has a “legitimate interest” that is served by the discriminatory classification and whether the means used to achieve this legitimate state interest are “reasonably related” or “rationally related” to that state interest. The Court generally applies this test with substantial deference to legislative judgment. *See, e.g., Railway Express Agency, Inc. v. New York*, 336 U.S. 106 (1949).

Here, the firefighter will likely argue that State A is violating his right to the “equal protection of the laws” by depriving him, and other firefighters, of employment solely because they have reached the age of 50. More specifically, he will argue that he and the other firefighters 50 and older are being forced to retire without regard to whether they are capable firefighters, an action not taken against those under the age of 50.

State A will likely argue that lowering the retirement age for firefighters will improve workforce quality, enhance public safety, and reduce expenses. Because these are “legitimate” state interests, this argument is likely to succeed.

Given the legitimacy of State A’s objectives, the question then becomes whether a mandatory retirement at age 50 is reasonably related to attaining those objectives. Although the firefighter may be a qualified firefighter notwithstanding his age, that is not the relevant question. The question is whether State A has reason to believe that one’s physical fitness and ability to be a firefighter, in general, decline with age. The question specifies that the legislature heard evidence from relevant professionals in support of that position. Hence, the conclusion that a mandatory retirement age would, in general, improve the fitness of the workforce is reasonable. Under the rational basis test, it is not necessary for the fit between ends and means to be perfect. The fit merely has to be “reasonable” or “rational.” *See generally* JOHN E. NOWAK & RONALD D. ROTUNDA, CONSTITUTIONAL LAW 756–58 (8th ed. 2010) (discussing application of rational basis test to mandatory retirement rules).

The fact that State A may have also enacted the statute to save money does not alter this analysis. One legitimate purpose to which the lines drawn by the statute are rationally related is sufficient to uphold a statute under the lenient rational basis test. Because State A has a legitimate governmental purpose for enacting this statute, and because lowering the retirement age is rationally related to the achievement of this purpose, a court is likely to conclude that the Act does not violate the Equal Protection Clause of the Fourteenth Amendment.

Point Two (50%)

Because age-based discrimination, in the form of a mandatory retirement age, is not a plausible constitutional injury, Congress does not have the authority under Section Five of the Fourteenth Amendment to enact legislation to remedy that injury.

Congress's powers are limited to those expressed or implied in the Constitution. To enact a law on a particular topic, Congress must rely on some identified grant of legislative authority in the Constitution. *See McCulloch v. Maryland*, 17 U.S. (4 Wheat.) 316 (1819). Section Five of the Fourteenth Amendment is one such grant of authority. *See City of Boerne v. Flores*, 521 U.S. 507 (1997).

While a mandatory retirement age for firefighters does not violate the Equal Protection Clause of the Fourteenth Amendment (*see* Point One), “[l]egislation which deters or remedies constitutional violations can fall within the sweep of Congress’[s] enforcement power even if in the process it prohibits conduct which is not itself unconstitutional” *Id.* at 518. Congress’s power, however, is remedial. It has been given the power “to enforce,” not the power to determine what constitutes a constitutional violation. *Id.* at 519. In drawing “the line between measures that remedy or prevent unconstitutional actions and measures that make a substantive change in the governing law,” the Court, in *City of Boerne v. Flores*, stated that the constitutional question is whether there is a “congruence and proportionality between the [constitutional] injury to be prevented or remedied and the means adopted to that end.” *Id.* at 519–20. Lacking such a connection, legislation may become substantive in operation and effect. The proportionality requirement of *Flores* allows Congress to outlaw conduct that courts likely would hold unconstitutional under existing judicial precedent. Congress may also outlaw a broader range of conduct to prevent constitutional violations. But Congress cannot rely on its Fourteenth Amendment enforcement power to prohibit a kind of behavior that is unlikely to involve a constitutional violation at all.

Because age is not a suspect classification under the Equal Protection Clause, states may discriminate on the basis of age without offending the Fourteenth Amendment if the age classification in question is rationally related to a legitimate state interest. The proposed federal statute would prohibit mandatory retirement requirements that courts likely would find constitutional. *See Kimel v. Florida Bd. of Regents*, 528 U.S. 62 (2000) (holding that a federal statute generally prohibiting age discrimination by employers (including states) exceeded the power of Congress to legislate pursuant to Section Five of the Fourteenth Amendment). Indeed, Congress’s primary goal here would be to outlaw a kind of discrimination that does not violate the Fourteenth Amendment. *Flores* clearly held that Congress cannot, under its Fourteenth Amendment power, legislate to prohibit constitutional behavior where there is no constitutional injury to be prevented or remedied. Therefore, a court would likely hold that Congress would not have the power under Section Five of the Fourteenth Amendment to enact a statute barring age requirements for firefighters.

[NOTE: This question does not raise any questions about sovereign immunity under the Eleventh Amendment inasmuch as Congress can abrogate that immunity when it acts pursuant to Section Five of the Fourteenth Amendment. In addition, this question does not ask whether Congress could pass such a statute under its Commerce Power. *See, e.g.,* the Age Discrimination in Employment Act.]

SECURED TRANSACTIONS ANALYSIS

(Secured Transactions II.D., E.; III.B.; IV.A., B., C.)

ANALYSIS

Legal Problems:

- (1) Does Bank have an enforceable and attached security interest in the collateral described in the loan agreement?
- (2) Does Bank's security interest cover
 - (a) Acme's rights to payment from customers who obtained repair services from Acme on credit?
 - (b) the used violins that are for sale in Acme's store?
 - (c) the violins in Acme's possession that it is repairing for others?
 - (d) the wood used by Acme in repairing violins?
 - (e) the Gambretti plane?
- (3) Does Bank's security interest cover the Red Rosa violin after its sale to the violinist?
- (4) Is Bank's security interest superior to the interest of a judicial lien creditor in the same property?

DISCUSSION

Summary

Bank has an enforceable and attached security interest in the property described in the loan and security agreement—Acme's "inventory and accounts."

The amounts owed to Acme by customers for violins repaired on credit are "accounts" covered by Bank's security interest. The used violins for sale in Acme's store are "inventory" covered by Bank's security interest. The violins that Acme is repairing for others are not subject to the security interest because they are not held by Acme for sale or lease and thus are not "inventory." The wood used in repairing violins is "inventory" subject to Bank's security interest. The Gambretti plane is equipment, rather than inventory or accounts, and not covered by Bank's security interest.

Although the Red Rosa violin was inventory subject to Bank's security interest, Bank's interest was cut off by the sale of Red Rosa to a buyer in ordinary course of business.

Because Bank's enforceable and attached security interest was perfected, it is superior to the rights of a judicial lien creditor that arose subsequent to perfection.

Point One (15%)

Bank has an enforceable and attached security interest in the property described in the loan and security agreement.

A security agreement is enforceable and attached if the three criteria described in UCC § 9-203(b) are satisfied. The first criterion is that “value has been given.” UCC § 9-203(b)(1). This is satisfied by the loan from Bank to Acme. The second criterion is that the debtor “has rights in the collateral or the power to transfer rights in the collateral to a secured party.” UCC § 9-203(b)(2). This is satisfied with respect to Acme’s inventory and accounts. The third criterion is satisfied because Acme has authenticated (signed, in this case) a security agreement that provides a description of the collateral. UCC § 9-203(b)(3)(A). Thus, since all three criteria have been satisfied, Bank’s security interest in the property described in the loan and security agreement is enforceable and attached.

Point Two(a) (10%)

Acme’s rights to payment from customers who obtained repair services on credit are “accounts” subject to Bank’s security interest.

Bank’s security interest covers “accounts,” as the term is defined in the Uniform Commercial Code. Acme’s rights to payment for repair services provided on credit are accounts because they are “right[s] to payment . . . for services rendered or to be rendered.” UCC § 9-102(a)(2)(ii). Thus, these rights to payment are subject to Bank’s security interest.

Point Two(b) (5%)

The used violins that are for sale in Acme’s store are “inventory” subject to Bank’s security interest.

Bank’s security interest covers “inventory.” The used violins that are for sale in Acme’s store are “inventory” under UCC § 9-102(a)(48) because they are “. . . goods . . . which . . . are held by a person for sale” Thus, those violins are subject to Bank’s security interest.

Point Two(c) (10%)

The violins in Acme’s possession that it is repairing for others are not covered by Bank’s security interest because they are not “inventory” and are not owned by Acme.

Bank’s security interest does not cover the violins that Acme is repairing for their owners. This conclusion can be reached in either of two ways. First, those violins are not “inventory” because they are not held by Acme for sale or lease. UCC § 9-102(a)(48)(B). Second, because the violins are not owned by Acme, but rather are owned by the individuals who brought them to Acme to be repaired, the security interest would not attach because Acme has neither rights in those violins nor the power to transfer rights in them to a secured party. UCC § 9-203(b)(2).

[NOTE: An examinee might argue that Acme has some rights in the violins it holds for repair because it has lawful possession of them, the right to repair them, the right to collect payment for repairs, and (in some jurisdictions) the right to assert an artisan’s lien if a repair bill is unpaid. An examinee who makes an argument of this sort should also note that these limited rights will not

help Bank for two reasons. First, as already noted, the violins don't fall within the scope of the security interest in any event, because they are not "inventory" or "accounts." Second, even if the violins held for repair were within the scope of the security agreement, Bank's rights against the owners of the violins would be no greater than Acme's and it could, at best, arrange for repairs to be performed and collect amounts due. Moreover, while it is possible that, because Acme deals in violins and the owners of the violins brought to Acme for repair entrusted them to Acme, buyers in ordinary course of business of those violins would get good title to them under UCC § 2-403(2), that provision does not give rights to secured parties.]

Point Two(d) (5%)

The wood used by Acme in repairing violins is "inventory" and subject to Bank's security interest.

Bank's security interest in inventory covers the wood that Acme uses to repair violins. "Inventory" includes "raw materials" that are consumed in the business of the debtor. *See* UCC § 9-102(a)(48)(D) and cmt. 4(a). Thus, Bank has a security interest in the wood as inventory.

Point Two(e) (5%)

The Gambretti plane is not included in Bank's collateral.

The Gambretti plane that Acme uses to shape the violins it repairs is not "inventory" because it is not held for sale or lease by Acme and does not otherwise fit into the other categories of "inventory" under UCC § 9-102(a)(48). Rather, the Gambretti plane is "equipment" (*see* UCC § 9-102(a)(33)) and not covered by Bank's security interest.

Point Three (25%)

The Red Rosa violin was subject to Bank's security interest prior to its sale, but the violinist was probably a buyer in ordinary course of business and therefore took the violin free of Bank's security interest under UCC § 9-320(a).

Bank's security interest in inventory covered the violin "Red Rosa" when it was held by Acme for sale. UCC § 9-102(a)(48). Furthermore, under UCC § 9-315(a)(1), except as otherwise provided in Article 9 "a security interest . . . continues in collateral notwithstanding sale . . . unless the secured party authorized the disposition free of the security interest"

Here, there are no facts to indicate that Bank authorized the disposition of Red Rosa free of its security interest. Nonetheless, the violinist's interest in Red Rosa is likely to prevail over Bank's security interest because the violinist probably qualifies as a "buyer in ordinary course of business."

Under UCC § 9-320(a), ". . . a buyer in ordinary course of business . . . takes free of a security interest created by the buyer's seller, even if the security interest is perfected and the buyer knows of its existence." Under UCC § 1-201(b)(9), a buyer in ordinary course of business is "a person that buys goods in good faith, without knowledge that the sale violates the rights of

another person in the goods, and in the ordinary course from a person . . . in the business of selling goods of that kind.”

Acme is in the business of selling rare violins like Red Rosa, and the violinist apparently bought Red Rosa in the ordinary course of Acme’s business. There are no facts to indicate that the purchase was in bad faith or irregular in any way. Although the violinist was aware of Bank’s security interest in Acme’s inventory, there was no indication that the sale to the violinist violated any of Bank’s rights. Thus, while the violinist was aware of the existence of the security interest, that knowledge does not disqualify the violinist as a buyer in ordinary course who takes free of a security interest. *See* UCC § 9-320(a). As a buyer in ordinary course of business, the violinist would take Red Rosa free of Bank’s security interest.

Point Four (25%)

Bank’s security interest in its collateral was perfected; therefore, the security interest is superior to the rights of a judicial lien creditor that arose subsequently.

A security interest is subordinate to the rights of a person who becomes a lien creditor before the security interest is perfected. UCC § 9-317(a)(2). Thus, if Bank’s security interest was not perfected at the time that creditor obtained its judicial lien, the security interest would be subordinate to that lien. Bank’s security interest was perfected, however. A security interest is perfected when it has attached and the other elements of perfection have been satisfied. UCC § 9-308(a). As described in Point One, Bank’s security interest in its collateral was attached. The filing of the financing statement was sufficient to perfect this attached security interest. UCC § 9-310(a). Thus, both elements of perfection were satisfied and Bank’s security interest was perfected before the lien creditor obtained its lien. Therefore, the security interest is superior to the rights of the lien creditor. *See also* UCC § 9-201(a).

REAL PROPERTY ANALYSIS

(Real Property II.B.; V.A., B.1.)

ANALYSIS

Legal Problems:

- (1)(a) Were the acts of possession by the man, his sister, and the buyer sufficient to acquire a title by adverse possession?
- (1)(b) Can the periods of possession during which the man, his sister, and the buyer occupied the cabin and garden be aggregated for the purpose of satisfying the statutory possession requirement?
- (1)(c) If the acts of possession were sufficient to acquire a title by adverse possession, did the adverse possession claim extend to the entire three-acre tract or only to the portion of land on which the cabin and garden were located?
- (2) Can the buyer recover damages from the man's sister, who gave a warranty deed for the three-acre tract?
- (3) Did the buyer take subject to an underground sewer-line easement created before the adverse possession began?

DISCUSSION

Summary

The possessory acts of the man, his sister, and the buyer were sufficient to acquire title by adverse possession as to the half acre of the three-acre tract on which the cabin and garden are located because they were (1) actual, (2) open and notorious, (3) exclusive, (4) continuous, and (5) hostile and under claim of right. Because the man, his sister, and the buyer were in privity with one another, their aggregate time of possession determines whether the 10-year statute of limitations has run. Here, the aggregate time of possession exceeds 10 years. Thus, the buyer acquired title to this one-half acre by adverse possession. However, because there were no possessory acts with respect to the remaining two and one-half acres, the buyer did not acquire title by adverse possession to the entire three-acre tract.

Because the buyer did not acquire title to the entire three-acre tract, the buyer can successfully sue the sister for damages because the sister purported to convey the entire three-acre tract by warranty deed and, under the warranty deed, she covenanted that she had good title to the entire three-acre tract.

The adverse possessors took subject to the sewer-line easement, as their acts of possession probably did not interfere with that easement or give the sewer company a cause of action against them. Thus, the buyer cannot compel the company to remove the sewer line.

Point One(a) (35%)

The acts of possession of the man, his sister, and the buyer were sufficient to acquire title by adverse possession to the one-half acre actually possessed by them.

To acquire title by adverse possession, the possession must be (1) actual, (2) open and notorious, exclusive, (4) continuous, and (5) hostile and under claim of right. HERBERT HOVENKAMP AND SHELDON F. KURTZ, *THE LAW OF PROPERTY* § 4.3 (5th ed. 2001). Here, all of these requirements were satisfied as to the one-half acre on which the cabin was built and the garden planted. The facts state that the possession of the man, his sister, and the buyer was exclusive and continuous, satisfying these two requirements of the test.

To be actual, acts of possession must be consistent with how a reasonable owner of land would have used it if in possession. *Id.* at 64–66. Here, the acts of possession included building and occupying a cabin as well as planting, harvesting, and maintaining a garden. These acts are consistent with how a reasonable owner would have used the one-half acre.

To be open and notorious, the acts of possession must be such that they would have put an owner on notice of the adverse possession had the owner inspected the land. Here, the cabin and garden occupied a half acre and were visible. When the owner acquired the land, it was vacant. Had the owner inspected, he would have determined that someone else was in possession.

Most courts and scholars agree that hostility and claim of right are present when a possessor is on the land without the owner's permission. *See generally* WILLIAM B. STOEBC & DALE A. WHITMAN, *THE LAW OF PROPERTY* 857–859 (3d ed. 2000). Some courts do hold that to acquire title by adverse possession, the possessor must have a good-faith belief that she has a good title to the land; others hold that the possessor must believe that she does not have a good title to the land. *See, e.g., Carpenter v. Ruperto*, 315 N.W.2d 782 (Iowa 1982) (good-faith belief required); *Mid-Valley Resources Inc. v. Engelson*, 13 P.3d 118 (Ct. App. Or. 2000) (subjective intent to show adverse possessor intended to take title away from the record owner); *see generally* JOSEPH WILLIAM SINGER, *PROPERTY* 151–156 (4th ed. 2014). But most courts and scholars reject these contradictory “subjective hostility” tests. *See, e.g., Chaplin v. Sanders*, 676 P.2d 431, 435–436 (Wash. 1984) (claimant's subjective intent is irrelevant); *Nickell v. Southview Homeowners Ass'n*, 271 P.3d 973, 978 (Ct. App. Wash. 2012); STOEBC & WHITMAN, *supra*. Thus, in the vast majority of jurisdictions (also including Missouri, Alabama, Montana, and Minnesota), the fact that the man, his sister, and the buyer were on the tract of land without the permission of the owner would suffice to satisfy the hostility and claim of right requirement.

Thus, the man, his sister, and the buyer satisfied the requirements for acquiring title by adverse possession as to the one-half-acre portion of the three-acre tract that they actually possessed.

Point One(b) (20%)

Although neither the man, nor his sister, nor the buyer individually possessed the property for the statutory 10-year period, their periods of possession can be aggregated because they were all in privity with one another. Thus, the 10-year statute has run, and the buyer has acquired title to the one-half acre.

The period during which possession must endure to create title by adverse possession is determined by statute. Here, the local statute provides that “any action to recover the possession of real property must be brought within 10 years after the cause of action accrues.”

A cause of action to recover possession of real property “accrues” when a wrongful act of possession occurs. *See RDG Partnership v. Long*, 350 S.W.3d 262, 270 (Tex. App. 2011). Here, the initial cause of action thus accrued when the man wrongfully entered a portion of the three-acre tract 15 years ago.

Here, the man possessed the property for seven years, the man’s sister possessed it for one year, and the buyer possessed it for seven years. Although none of these individual periods of possession equals the 10-year statutory period, when multiple adverse possessors are in “privity” with one another, the period of their respective possessions can be aggregated for the purpose of determining whether the statutory period (here, 10 years) has run against the holder of the cause of action. In this context, privity denotes a relationship between possessors arising because of a voluntary transfer between them, descent under the laws of intestacy, or testamentary succession as the result of a bequest. *Fredericksen v. Henke*, 209 N.W. 257, 259 (Minn. 1926). Here, the man and his sister were in privity as a result of testamentary succession, namely the bequest in the man’s will of all real property “in which I have or may have an interest” to his sister. The sister and the buyer were also in privity because of the voluntary transfer between them. *See generally* HOVENKAMP & KURTZ, *supra*, at 74–75.

Thus, because the 10-year statutory period has elapsed, the buyer has acquired title by adverse possession to the one-half-acre portion of the three-acre tract that he, the sister, and the man actually possessed.

Point One(c) (15%)

The buyer did not acquire title to the unpossessed two and one-half acres because he did not possess or use that portion of the tract.

The buyer acquired title by adverse possession only to the portion of the tract for which he met all requirements of the five-prong test. (*See* Point One(a).) Because the man, his sister, and the buyer never possessed (or even used) any of the two and one-half acres beyond the garden, the buyer cannot claim title by adverse possession to those acres.

The doctrine of constructive adverse possession does not alter this result. Under this doctrine, if a possessor enters under color of title (i.e., an instrument creating the possibility of a title in the grantee who enters under the instrument) and the possessor takes possession of only a portion of the land described in the instrument, the possessor’s possession is deemed to constructively extend to the portion of the described land. Here, neither the man nor his sister entered under color of title. Although the buyer did enter with a deed and, arguably, color of title, his constructive possession endured only seven years, short of the statutory period in which the legal title holder may regain possession. *See* HOVENKAMP & KURTZ, *supra*, at 78–80.

Point Two (15%)

The buyer is entitled to damages from the sister because the sister did not convey title to the three-acre tract by a general warranty deed.

A warranty deed includes numerous covenants. Two of them—the covenant of seisin and the right to convey—are essentially the same, and they guarantee that the seller owns the conveyed land. Here, the sister did not own the three-acre tract when she purported to convey it to the buyer by a general warranty deed. Thus, she was in breach of the covenant of seisin and the right to convey, and the buyer is entitled to damages for that breach.

[NOTE: Some examinees may confuse the warranty issue with the concept of marketable title. It is true that the man's sister did not have a marketable title when she conveyed to the buyer because her adverse possession claim was clearly subject to the risk of litigation. Nonetheless the buyer agreed to go forward with the transfer, and the sister gave the buyer a warranty deed. Had she given the buyer a quitclaim deed, no warranties would have been breached.]

While the deed also includes a covenant of quiet enjoyment and a covenant of warranty, no facts suggest that these have been breached here, as the buyer has not been evicted.]

Point Three (15%)

The buyer cannot compel the company to remove the sewer line from under the garden because he took subject to the sewer-line easement and probably did not interfere with that easement.

Where an adverse possessor acquires title by adverse possession, the nature of the acquired title is no greater than the title of the holder of the cause of action who was barred by the running of the statute of limitations. Here, the owner's title was subject to the properly recorded sewer-line easement at the time the man wrongfully entered the land.

The man, his sister, and the buyer cannot claim to have adversely possessed the easement unless their possession interfered with the rights of the sewer company, giving it a cause of action against the man, the sister, and the buyer while they were in possession. There is nothing in the facts, however, suggesting that planting and maintaining a garden interfered with the sewer company's access to the sewer line. In the absence of such interference, the company has no cause of action against the possessors, in which case the buyer acquired the owner's title only—a title subject to the sewer-line easement. III AMER. LAW OF PROPERTY § 15.13 at 826 (1952).

Examinees who make a plausible argument that possession of the garden *did* interfere with the easement *should* conclude that the buyer could compel the sewer company to remove the sewer line. In that case, its failure to do so within the 10-year statutory period would result in the buyer acquiring a title that is superior to both the owner and the sewer company.

CIVIL PROCEDURE ANALYSIS

(Civil Procedure I.A., B., C.; III.D.)

ANALYSIS

Legal Problems:

- (1) Do the Federal Rules of Civil Procedure permit service of process on a corporation to be made by delivery of the summons and complaint to a chief executive officer of the corporation at corporate headquarters when the relevant state law requires service on the corporation's secretary?
- (2) Are two corporations diverse for purposes of federal jurisdiction when they are incorporated and headquartered in different states but their main facilities are located in the same state, which is also the state of incorporation of one of the businesses?
- (3) Can a third-party defendant be joined to a case when the claim against that third-party defendant is factually related to the plaintiff's original cause of action but the claimant does not allege that the third-party defendant is liable to the original plaintiff or responsible for the original plaintiff's damages?

DISCUSSION

Summary

The company was properly served. Federal Rule of Civil Procedure 4(h) provides that service of process may be made on a corporation by delivering a copy of the summons and complaint to a corporate officer or to a general or managing agent. Because the Federal Rules explicitly authorized this manner of service, it does not matter that it did not comply with State A or State B law.

The District Court has diversity jurisdiction over MedForms's state-law claim against the company. The amount at stake (\$500,000) satisfies the amount-in-controversy requirement, and the parties are diverse. MedForms is a citizen of State A, where it is incorporated and has its headquarters. The company is a citizen of State B, where it is incorporated and has its headquarters. The fact that the document processing facilities for both companies are in State A does not prevent them from being diverse.

However, the third-party complaint should be stricken. Federal Rule of Civil Procedure 14(a) authorizes a defendant to bring a complaint against a nonparty (a "third-party complaint") only in situations in which the original defendant asserts that the third-party defendant is somehow liable for whatever the original defendant might owe the original plaintiff. Here, MedForms is not asserting that the company is liable to MedForms for any damages owed to the woman. Rather, MedForms seeks to obtain relief for separate injuries it suffered as a result of the company's breach of contract. It cannot bring such a claim as a third-party complaint in this action.

Point One (30%)

MedForms's delivery of the summons and complaint to the company's CEO satisfies the requirements of Federal Rule of Civil Procedure 4(h) and of the Constitution.

Under Federal Rule of Civil Procedure 4(h), service upon a corporation may be effected within a United States judicial district by “following state law for serving a summons in an action brought in courts of general jurisdiction in the state where the district court is located or where service is made,” or “by delivering a copy of the summons and of the complaint to an officer, a managing or general agent.” Here, MedForms did not serve the secretary of the company and therefore did not comply with the service laws of either State A, where the District Court sits, or State B, where service was made. However, MedForms nonetheless properly served the company under Rule 4(h) because it delivered a copy of the summons and complaint to the company’s CEO. This service was explicitly authorized by Rule 4(h). Rule 4(h) does not specify which corporate representatives count as “officers” for the purpose of receiving service of process, but a court would almost certainly conclude that service on a CEO satisfies the rule because such an official would be “so integrated with the corporation sued as to make it *a priori* supposable that he will realize his responsibilities and know what he should do with any legal papers served on him.” *Courtesy Chevrolet, Inc. v. Tennessee Walking Horse Breeders’ and Exhibitors’ Assoc. of America*, 344 F.2d 860, 866 (9th Cir. 1965) (quoting 19 C.J.S. *Corporations* § 1312).

It is irrelevant that the manner of service chosen by MedForms was in violation of state law. Rule 4 of the Federal Rules of Civil Procedure, which governs the service of process, regulates procedural matters and thus is controlling law in federal diversity suits, notwithstanding any conflict with state service law. *See Hanna v. Plumer*, 380 U.S. 460 (1965). Finally, this method of service (personal delivery of the summons and complaint to the CEO) was reasonably calculated to provide the company with actual notice of the case and therefore satisfies constitutional requirements. *See Mullane v. Central Hanover Bank & Trust*, 339 U.S. 306 (1950).

Point Two (35%)

The District Court has diversity jurisdiction over MedForms’s breach of contract claim because the amount in controversy exceeds \$75,000 and MedForms and the company are citizens of different states.

MedForms’s breach of contract claim against the company is created by state law and therefore cannot support federal-question jurisdiction. *See* 28 U.S.C. § 1331. Original jurisdiction will exist, if at all, under 28 U.S.C. § 1332 (diversity jurisdiction).

Federal district courts can exercise jurisdiction over claims between citizens of different states where the amount in controversy exceeds \$75,000. 28 U.S.C. § 1332. Here, MedForms has claimed damages of \$500,000, and the court will accept this as the amount in controversy unless the allegation was made in bad faith or it appears to a legal certainty that the plaintiff cannot recover that amount. There is nothing in the facts of this problem to suggest that MedForms’s claim was made in bad faith or that its damages were less than \$75,000 to a legal certainty. Hence, the amount-in-controversy requirement is satisfied.

The question is therefore whether MedForms (the third-party plaintiff) and the company (the third-party defendant) are citizens of different states. For diversity purposes, corporations have

dual citizenship. A corporation is a citizen both of the state where it is incorporated and also of the state where it has its principal place of business. A corporation's principal place of business is the corporation's "nerve center" (i.e., "the place where a corporation's officers direct, control, and coordinate the corporation's activities"). *Hertz Corp. v. Friend*, 559 U.S. 77, 92–93 (2010). Ordinarily, this will be "the place where the corporation maintains its headquarters," unless the facts indicate that the corporation's designated "headquarters" is not really its "nerve center" but is simply an office for occasional meetings. *Id.*

In this case, MedForms is incorporated in State A. It also has its principal place of business in State A, as that is where its headquarters is located. There is no evidence that its headquarters is not its nerve center. Therefore, MedForms is a citizen of State A.

On the other hand, the company is incorporated in State B. Its principal place of business is also in State B, as that is where its headquarters is located. There is no evidence that its headquarters is not its nerve center. The fact that the company's only document processing facility is in State A does not matter. In *Hertz Corp.*, the Supreme Court determined that a corporation's principal place of business (and citizenship) for diversity purposes would be determined by the location of the corporation's headquarters or "nerve center," rather than by the location of its business activities. Thus, the company is a citizen of State B.

Hence, MedForms and the company are citizens of different states and diversity exists.

[NOTE: An examinee who incorrectly concludes that there is no diversity jurisdiction should go on to analyze whether the district court could exercise supplemental jurisdiction over MedForms's claim. 28 U.S.C. § 1367 would authorize the district court to exercise supplemental jurisdiction over MedForms's claim against the company if it is part of the same constitutional "case or controversy" as the woman's discrimination claim against MedForms. In this case, there would be no supplemental jurisdiction because the two claims are not part of the same case or controversy.]

Claims form part of the same case or controversy if they arise out of a common nucleus of operative facts. *See United Mine Workers of America v. Gibbs*, 383 U.S. 715 (1966). Here, the woman's and MedForms's claims arise from related facts, but they do not arise from a common nucleus of *operative* facts. The operative facts underlying the woman's claim are based on how her MedForms supervisor treated her and his allegedly gender-based firing of her. MedForms's claim rests on the company's unsatisfactory performance of its data-entry obligations under the contract. The main operative facts that form the basis of the two claims are completely separate—the supervisor's alleged harassment and biased action on the one hand, and the company's alleged inadequate contract performance on the other.]

Point Three (35%)

MedForms's joinder of the company as a third-party defendant is improper because a third-party defendant may be joined by the original defendant only when the original defendant claims that the third party is liable for all or part of the plaintiff's original claim.

Federal Rule of Civil Procedure 14(a) authorizes a defendant to bring a nonparty into an action only in very limited circumstances. If the defendant claims that the nonparty “is or may be liable to [the defendant] for all or part of the claim against it,” then the defendant may bring a third-party complaint against the nonparty and the nonparty may be joined as a third-party defendant.

Here, MedForms has attempted to bring the company into the action by alleging that the company breached its contract with MedForms. MedForms does not claim that the company is or might be liable for any damages that MedForms might be ordered to pay to the woman. Moreover, there are no facts that suggest that the company played any role in, or had any obligation to indemnify MedForms for, the behavior of MedForms’s supervisor that is the basis for the woman’s claim against MedForms. In short, any liability that the company might have to MedForms is entirely independent of any liability MedForms may incur to the woman. Thus, MedForms’s attempt to bring a third-party complaint against the company exceeds the bounds of proper joinder, and MedForms’s complaint should be stricken.

[NOTE: In the facts, the company moves to “dismiss MedForms’s third-party complaint for . . . (c) improper joinder.” Fed. R. Civ. P. 14(a)(4) allows a “motion to strike” a third-party claim for improper impleader, but makes no mention of a motion to dismiss a third-party complaint. Litigants, however, commonly move to dismiss, and courts regularly grant such motions, without regard to terminology. *See, e.g., AIG Europe Limited v. General System, Inc.*, 2013 WL 6654382 (D. Md. 2013). Similarly, although Rule 14 does not use the word “joinder,” litigants, courts, and scholars commonly refer to third-party complaints as a form of joinder. *See, e.g., FRIEDENTHAL, KANE & MILLER, CIVIL PROCEDURE* 83 (4th ed. 2005) (“It is important to distinguish impleader from the other claim-joinder devices that are available.”)]

Many examinees may discuss this issue in terms of the joinder standards of Rule 18 (Joinder of Claims) or Rule 19 (Required Joinder of Parties). These examinees fail to recognize that the standards for Rule 14 impleader are different. Those who take this approach might be given some credit if they recognize that it is proper to strike MedForms’s claim against the company because that claim is only tangentially related to the claim of the original plaintiff (the woman) against MedForms. However, full credit is appropriate only if the examinee also recognizes that a third-party complaint is not appropriate merely because the claims are related or arise out of the same transaction. A third-party claim must be based on some legal theory of derivative liability (e.g., that the third-party defendant has a legal obligation to indemnify the original defendant in the event of the original defendant’s liability).]

DECEDENTS' ESTATES ANALYSIS

(Decedents' Estates II.F.3., K.4.; III.)

ANALYSIS

Legal Problems:

- (1) Was the husband's will revoked by physical act because of the handwritten statement across the bequests to his wife and his best friend?
- (2) Is the husband's daughter, born after the execution of his will, entitled to a share of his probate estate?
- (3) How should the assets of the revocable trust deemed illusory under state law be distributed upon the husband's death after the wife claims her one-half share in those assets?

DISCUSSION

Summary

A will can be revoked by a physical act, such as a cancellation, when the marks of cancellation are placed on the text of the will with the intent to revoke the will. Here, the words the husband wrote on the will evidence only an intent to have the will re-evaluated. Thus, the will was not revoked and its terms, subject to a possible claim by his daughter, will be given effect.

Under some state pretermitted (a/k/a "afterborn" or "omitted") child statutes, the husband's daughter, born after the execution of his will, would be entitled to that share of his probate estate she would have taken by intestacy unless the will otherwise provides. In other states, however, she would not be entitled to a share of the husband's probate estate because his will left the bulk of his probate estate to his wife, the daughter's other parent. Here, there are two reasons the daughter may not take a pretermitted child's share: (1) the phrase "regardless of whether we have children" evidences the husband's intent that the daughter not take that share, or (2) the assumed state law bars the share if the will left the whole or substantially all of the estate (as here) to the child's surviving parent.

Under the state statute, the wife is entitled to a one-half share of the revocable trust created by the husband. It is unclear whether the remaining half would pass to the wife as residuary legatee under his will or to University, the named remainderman of the revocable trust. Case law is divided on this point.

[NOTE: If the will was revoked, the husband's probate estate of \$300,000 would pass \$150,000 to each of the wife and the daughter and nothing would pass to the friend; if not revoked, the friend takes \$5,000 and the wife \$295,000 from the probate estate, subject to any claim the daughter might have. Since the pretermitted child's claim is weak here, the conservator for the daughter has an incentive to challenge the will.]

Point One (55%)

The husband's will was not revoked because there is no evidence that he intended to revoke the will when he wrote on it.

A will may be revoked by the execution of a new will or by some physical act, such as cancellation or other writings on the will, if the testator (or someone acting at the testator's direction) performs the physical act with the intent to revoke the will. The burden of proof to establish that a validly executed will has been revoked is upon the party seeking to revoke the will. *See WILLIAM M. MCGOVERN, SHELDON F. KURTZ & DAVID M. ENGLISH, WILLS, TRUSTS & ESTATES 260 (4th ed. 2010).*

Here, that burden cannot be met. The husband's handwritten statement on the will does not show intent to revoke the will. Instead, it suggests that he wanted to re-evaluate his overall estate plan in light of the fact that a large portion of his assets were held in the revocable trust and that he did not believe that either his wife or his daughter was adequately provided for. The phrases "estate plan should be changed" and "call lawyer to fix" show intent to do something *in the future* after consultation with his attorney, not to revoke the will now. In addition, the discovery of the documents found on the husband's desk, his sudden death, and the voice message on his phone from his lawyer suggest that the husband had only recently discovered the problem and called his lawyer to work it out, not that he had revoked his will.

Thus, because the will was not revoked, the friend should take \$5,000 under the husband's will and his wife should take \$295,000, the balance of the probate estate (possibly increased by assets from the trust (*see Point Three*) but subject to the daughter's claim, if any (*see Point Two*)).

[NOTE: Alternatively, the markings on the will might be construed as evidencing an intent to revoke the will. The husband appears to have recognized that the will made no sense in light of his family circumstances. The markings state that the plan should be changed and that the husband will take steps to make that change by calling his lawyer which, in fact, he did. Thus, so the argument goes, the will was revoked by cancellation. If the will was revoked, then the husband died intestate and half the estate would pass to the wife and half to the daughter under the intestacy law of the state.]

[NOTE: The argument claiming that there was an intent to revoke is not as strong as the argument in favor of no revocation because of the language of futurity in those markings.]

Point Two (15%)

Most likely the husband's daughter is not entitled to a pretermitted child's share. The phrase in the will "regardless of whether we have children" suggests that the husband wanted the wife to take even if they had children, thus evidencing his intent that the pretermitted child statute not apply.

Most states have "pretermitted child" statutes aimed at ensuring that children born after the execution of a will are not inadvertently disinherited. Many of these statutes provide that, under

Decedents' Estates Analysis

certain circumstances, a child born to a testator after the testator's will is executed is entitled to whatever share of the testator's estate the child would have received if the testator had died intestate. In states with such statutes, bequests in favor of an afterborn child's other parent are irrelevant. *See, e.g.*, IOWA CODE § 633.267 (a surviving spouse who is the parent of the decedent's surviving child is entitled to the entire estate (*see* IOWA CODE § 633.211), and the daughter would take nothing); 755 ILL. REV. STAT. 5/4-10 (a surviving spouse is only entitled to one-half of an intestate decedent's estate (*see* 755 ILL. REV. STAT. 5/2-1), and the daughter's share would be one-half of the estate). However, a testator can avoid the consequences of such a statute if the will evidences intent to do so. Here, that seems to be the husband's intent as evidenced by the phrase "regardless of whether we have children."

In other states, an afterborn child is denied a share of the decedent parent's estate if the decedent parent bequeathed all or substantially all of his estate to the child's other parent. *See, e.g.*, UNIF. PROB. CODE § 2-302(a)(1). In states that follow the UPC approach, the daughter would not be entitled to any share of the husband's estate because her mother (the wife) is entitled to substantially all of the husband's estate.

[NOTE: Regardless of how examinees conclude Point One, there were enough signals in the question to have prompted discussion of this issue even if they concluded that the will had been revoked.]

Point Three (30%)

The wife is entitled to take one-half of the revocable trust under the state statute. Either the wife, as residuary legatee under the husband's will, or University, as remainderman of the trust, is entitled to the other half.

Under the law of the state, the wife is entitled to a one-half share of the revocable trust created by the husband because the trust was in existence during the marriage. This leaves open the question of who is entitled to the balance of the trust's assets. Under the statute, the trust is characterized as "illusory." This characterization is ambiguous regarding whether it is just illusory as to the wife or illusory for all purposes. If the former, then the wife is entitled to her half share, as that share only is illusory, and the balance of the trust (not deemed illusory) should pass to University, as the designated remainderman. *See Montgomery v. Michaels*, 301 N.E.2d 465 (Ill. 1973). On the other hand, if a court deems the trust illusory for all purposes, then the trust is void and the trust assets are distributed to the wife as residuary legatee of the husband's estate, assuming that the will is valid. *See Newman v. Dore*, 9 N.E.2d 966 (N.Y. 1937). If, however, the will is invalid, the trust assets pass equally to the wife and her daughter as intestate property.

July 2015
MEE Questions
and Analyses

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the July 2015 MEE. (In the actual test, the questions are simply numbered rather than being identified by area of law.) The instructions for the test appear on page iii.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, identified by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Civil Procedure question on the July 2015 MEE tested the following areas from the Civil Procedure outline: I.A., B.; III.D. Jurisdiction and venue—Federal subject matter jurisdiction (federal question, diversity, supplemental, and removal), Personal jurisdiction; and Pretrial procedures—Joinder of parties and claims (including class actions).

For more information about the MEE, including subject matter outlines, visit the NCBE website at www.ncbex.org.

Description of the MEE

The MEE consists of six 30-minute questions and is a component of the Uniform Bar Examination (UBE). It is administered by user jurisdictions as part of the bar examination on the Tuesday before the last Wednesday in February and July of each year. Areas of law that may be covered on the MEE include the following: Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Civil Procedure, Conflict of Laws, Constitutional Law, Contracts, Criminal Law and Procedure, Evidence, Family Law, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Uniform Commercial Code (Secured Transactions). Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusions. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Answer all questions according to generally accepted fundamental legal principles unless your testing jurisdiction has instructed you to answer according to local case or statutory law.

NOTE: Examinees testing in UBE jurisdictions must answer according to generally accepted fundamental legal principles rather than local case or statutory law.

July 2015 MEE Questions

Torts

Civil Procedure

Contracts

Corporations

Criminal Law and Procedure

Trusts

TORTS QUESTION

A boy lives in a northern state where three to four feet of snow typically blankets the ground throughout the winter, creating excellent conditions for snowmobiling. The boy is an experienced snowmobiler and a member of a club that maintains local snowmobile trails by clearing them of rocks, stumps, and fallen tree limbs that could cause an accident when buried under the snow. In January, the boy received a snowmobile as a present on his 12th birthday. The following Sunday, the boy took his friend, age 10, out on the boy's new snowmobile, which was capable of speeds up to 60 miles per hour. The friend had never been snowmobiling before.

The boy and his friend went snowmobiling on a designated and marked snowmobile trail that follows the perimeter of a rocky, forested state park near the friend's home. The trail adjoins forested property owned by a private landowner. Neither the boy nor his friend had previously used this trail.

The landowner's property is crossed by a private logging trail that intersects the snowmobile trail. The logging trail is not marked or maintained for snowmobiling, and access to it is blocked by a chain approximately 30 inches above ground level on which a "No Trespassing" sign is displayed. However, on the day in question, both the chain and the sign were covered by snow.

On impulse, the friend, who was driving the snowmobile, turned the snowmobile off the designated snowmobile trail and onto the logging trail. The snowmobile immediately struck the submerged chain and crashed. Both the boy and the friend were thrown from the snowmobile and injured. As a result of the accident, the snowmobile was inoperable.

About an hour after the accident, a woman saw the boy and his friend as she was snowmobiling on the snowmobile trail. After the woman returned to her car, she called 911, reported the accident and its location, and then went home. Emergency personnel did not reach the boy and his friend for two hours after the woman's departure. No one other than the woman passed the accident site before emergency personnel arrived.

As a result of the accident, the boy suffered several broken bones and also suffered injuries from frostbite. These frostbite injuries could have been avoided had the boy been rescued earlier.

The boy has brought a tort action against the friend, the landowner, and the woman.

1. Could a jury properly find the friend liable to the boy for his injuries? Explain.
2. Could a jury properly find the landowner liable to the boy for his injuries? Explain.
3. Could a jury properly find the woman liable to the boy for his injuries? Explain.

CIVIL PROCEDURE QUESTION

A woman attended a corporation's sales presentation in State A. At this presentation, the corporation's salespeople spoke to prospective buyers about purchasing so-called "super solar panels," rooftop solar panels that the corporation's salespeople said were 100 times as efficient as traditional solar panels. The salespeople distributed brochures that purported to show that the solar panels had performed successfully in multiple rigorous tests. The brochures had been prepared by an independent engineer pursuant to a consulting contract with the corporation.

Based on what she was told at this presentation and the brochure she received, the woman decided to purchase solar panels from the corporation for \$20,000. The corporation shipped the panels to the woman from its manufacturing facility in State B. The woman had the panels installed on the roof of her house in State A. The panels failed to work as promised, even though they were properly installed.

A federal statute prohibits "material misstatements or omissions of fact in connection with the sale or purchase of solar panels" and provides an exclusive civil remedy for individuals harmed by such statements. This remedy preempts all state-law claims that would otherwise apply to this purchase.

Relying on this federal statute, the woman has sued the corporation and the independent engineer in the U.S. District Court for the district of State A. She alleges that the statements made by the engineer in the brochure and the statements made by the corporation's salespeople at the presentation were false and misleading with respect to the solar panels' performance and value. She seeks damages of \$30,000 (the cost of the solar panels plus the expense of installing them).

The woman is a State A resident. The corporation is incorporated in State B and has its principal place of business in State B. The engineer, who has never been in State A, is a State B resident with his principal place of business in State B. He prepared the brochures in State B and delivered them to the corporation there. He knew that the brochures would be distributed to prospective buyers at sales presentations around the country.

The federal statute has no provision on personal jurisdiction. State A's long-arm statute has been interpreted to extend personal jurisdiction as far as the U.S. Constitution allows.

The engineer has timely moved to dismiss the complaint against him for lack of subject-matter and personal jurisdiction. The engineer has also filed an answer (subject to his motion to dismiss) denying the claims against him and asserting a cross-claim against the corporation. The engineer's cross-claim alleges that the corporation must indemnify the engineer for any damages he may have to pay the woman. The indemnity claim is based on the terms of the consulting contract between the corporation and the engineer.

The corporation has filed timely motions to dismiss the woman's complaint for lack of subject-matter and personal jurisdiction and to dismiss the engineer's cross-claim for lack of subject-matter jurisdiction.

1. Does the State A federal district court have personal jurisdiction over
 - (a) the corporation? Explain.
 - (b) the engineer? Explain.
2. Assuming that there is personal jurisdiction over both defendants, does the State A federal district court have subject-matter jurisdiction over
 - (a) the woman's claim against the corporation and the engineer? Explain.
 - (b) the engineer's cross-claim against the corporation? Explain.

CONTRACTS QUESTION

A seller and a buyer both collect antique dolls as a hobby. Both live in the same small city and are avid readers of magazines about antique dolls. The seller placed an advertisement in an antique doll magazine seeking to sell for \$12,000 an antique doll manufactured in 1820.

On May 1, the buyer saw the advertisement and telephoned the seller to discuss buying the doll. During this conversation, the seller and the buyer agreed to a sale of the doll to the buyer for \$12,000 and also agreed that the seller would deliver the doll to the buyer's house on May 4, at which time the buyer would pay the purchase price.

The next day, May 2, the buyer changed his mind and decided not to buy the doll. He signed and mailed a letter to the seller, which stated in relevant part:

I have decided not to buy the 1820 doll that we agreed yesterday you would sell to me.

The seller received the letter on May 3, immediately telephoned the buyer, and said, "I consider your letter of May 2 to be the final end to our deal. I will sell the doll to someone else and will hold you responsible for any loss."

On May 4, the seller received a telephone call from another antique doll collector. The collector had seen the seller's advertisement for the doll and expressed interest in buying it. After some discussion, the seller and the collector agreed to a sale of the doll to the collector for \$11,000. Because the collector lived in a distant part of the state, the agreement provided that the seller, at her expense, would arrange for delivery of the doll by an express delivery service. The express delivery service that they selected charges \$150 for deliveries of this type. The sale, the method of delivery, and the fee were all commercially reasonable. The seller acted in good faith in entering into this agreement with the collector.

On May 5, the buyer telephoned the seller and said, "I made a mistake when I sent the letter, and I will buy the doll from you on the terms we agreed to. Come to my house tomorrow—I'll have the \$12,000 for you." The seller replied, "You're too late. I've already sold the doll to someone else." The seller then took the doll to the delivery service and paid the \$150 delivery fee. The delivery service delivered the doll to the collector, who immediately wired the \$11,000 payment to the seller. Two weeks later, the seller sued the buyer for breach of contract.

1. Is there a contract for the sale of the doll that is enforceable against the buyer? Explain.
2. Assuming that there is a contract enforceable against the buyer, did the buyer breach that contract? Explain.
3. Assuming that there is a contract enforceable against the buyer and that the buyer breached that contract, how much can the seller recover in damages? Explain.

CORPORATIONS QUESTION

The board of directors of a commercial real estate development corporation consists of the corporation's chief executive officer (CEO) and three other directors, who are executives at various other firms.

The corporation owns a commercial office tower, the value of which is approximately 10 percent of the corporation's total holdings. The corporation uses one floor of the tower as its corporate headquarters, but it wants to vacate that floor as soon as it locates suitable replacement space.

Two years ago, the board obtained an independent appraisal of the tower, which indicated a fair market value of between \$12 and \$15 million. After considering that appraisal, the board authorized the corporation's CEO to seek a purchaser for the tower.

The CEO immediately showed the tower to several sophisticated real estate investors and received offers ranging from \$8 million to \$13 million. The CEO decided that these offers were insufficient, and after he reported back to the board, no further action to sell the tower was taken.

Two months ago, the CEO and the other three directors of the corporation formed a limited liability company (LLC) in which each holds a 25 percent ownership interest.

One month ago, the corporation's board unanimously authorized the corporation's sale of the tower to LLC for \$12 million. The minutes of the board's meeting at which the tower sale was authorized reflect that the meeting lasted for 10 minutes and that the only document reviewed by the corporation's directors was the two-year-old appraisal of the tower.

The minutes of the board's meeting further state that the transaction was to be carried out with "a friendly company so that the corporation will have time to relocate to a new headquarters" and that the board "authorized the transaction because the \$12 million price is toward the high end of the range of offers received in the past from sophisticated real estate investors and is within the range of fair market values listed in the appraisal."

After the board's authorization of the tower sale, the corporation entered into a contract to sell the tower to LLC. The board did not seek shareholder approval of the transaction.

A non-director shareholder of the corporation is upset with the board's decision authorizing the sale of the tower to LLC. The shareholder believes that the corporation could have obtained a higher price for the tower.

1. Does the business judgment rule apply to the board's decision to have the corporation sell the tower to LLC? Explain.
2. Did the directors breach their fiduciary duties by authorizing the tower sale? Explain.

CRIMINAL LAW AND PROCEDURE QUESTION

On his way to work one morning, a man stopped his car at a designated street corner where drivers can pick up passengers in order to drive in the highway's HOV (high-occupancy vehicle) lanes. When the man, who was driving alone, opened his car door and announced his destination, a woman (a stranger) jumped into the front seat.

As soon as the man drove his car onto the busy highway, the woman took a knife from her backpack and held it against the man's throat. She said to him, "I am being followed by photographers from another planet where I am a celebrity. Pictures of me are worth a fortune, so I never give them away for free. Forget the speed limit and get me out of here fast, or else."

With the woman holding the knife at his neck, the man sped up to 85 miles per hour (30 mph over the posted speed limit of 55 mph), weaving in and out of traffic to avoid other cars, while the woman urged him to drive faster. While attempting to pass a motorcycle at a curve in the highway, the man lost control of the car, which struck and killed the motorcyclist before crashing into a railing.

A police car arrived at the scene a few minutes later. The man and the woman were treated for minor injuries at the scene and then arrested and taken to the police station.

While in custody, the woman was examined by two psychiatrists. Both psychiatrists submitted written reports stating that the woman suffers from schizophrenia and that, at the time of the accident, her delusions about alien photographers were caused by her schizophrenia.

The State A prosecutor has charged the woman with felony murder for the motorcyclist's death based on her kidnapping of the man, but is not sure whether to charge the man with any crime.

In State A, the rules governing crimes and affirmative defenses follow common law principles. However, in State A the Not Guilty by Reason of Insanity ("NGRI") defense is defined by statute as follows:

To establish the defense of NGRI, the defendant must show that, at the time of the charged conduct, he or she suffered from a severe mental disease or defect and, as a result of that mental disease or defect, he or she did not know that his or her conduct was wrong. The defendant has the burden to prove all elements of the defense by a preponderance of the evidence.

Assume that the two psychiatric reports will be admitted into evidence.

1. Can the woman establish an NGRI defense? Explain.
2. With what crimes, if any, can the man be charged as a result of the motorcyclist's death? Explain.
3. What defenses, if any, will be available to the man if he is charged with a crime related to the motorcyclist's death? Explain.

TRUSTS QUESTION

In 1995, a man and his friend created a corporation. The man owned 55% of the stock, and the friend owned 45% of the stock. When the man died in 2005, he left all of his stock in the corporation to his wife.

In 2009, the wife died. Under her duly probated will, the wife bequeathed the stock her husband had left her to a testamentary trust and named her husband's friend as trustee. Under the wife's will, the trustee was required to distribute all trust income to the wife's son "for so long as he shall live or until such time as he shall marry" and, upon the son's death or marriage, to distribute the trust principal to a designated charity. The stock, valued at \$500,000 at the wife's death, comprised the only asset of this trust.

In 2013, after the stock's value had risen to \$1.5 million, the trustee's lawyer properly advised the trustee to sell the stock in order to comply with the state's prudent investor act. Because of this advice, the trustee decided to sell the stock. However, instead of testing the market for potential buyers, the trustee purchased the stock himself for \$1.2 million. Thereafter, on behalf of the trust, the trustee invested the \$1.2 million sales proceeds in a balanced portfolio of five mutual funds (including both stocks and bonds) with strong growth and current income potential.

Recently, both the son and the charity discovered the trustee's sale of the stock to himself and his reinvestment of the proceeds from the stock's sale. They learned that, due to general economic conditions, the stock in the corporation that had been purchased by the trustee for \$1.2 million had declined in value to \$450,000 and the value of the trust's mutual-fund portfolio had declined from \$1.2 million to \$1 million. Both the son and the charity have threatened to sue the trustee.

The son has also decided that he wants to get married and has notified the trustee that he believes the trust provision terminating his income interest upon marriage is invalid.

1. Would the son's interest in the trust terminate upon the son's marriage? Explain.
2. Did the trustee breach any duties by buying the trust's stock and, if yes, what remedies are available to the trust beneficiaries if they sue the trustee? Explain.
3. Did the trustee breach any duties in acquiring and retaining the portfolio of mutual funds and, if yes, what remedies are available to the trust beneficiaries if they sue the trustee? Explain.

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Torts

Civil Procedure

Contracts

Corporations

Criminal Law and Procedure

Trusts

TORTS ANALYSIS

(Torts II.A., B.1., E.2., G.1.; IV.A.)

ANALYSIS

Legal Problems:

- (1) Could a jury properly find that the friend, a 10-year-old child with no snowmobiling experience, was negligent?
- (2) Did the landowner have a duty to reveal hidden dangers and, if yes, could a jury properly find that there was a breach of that duty?
- (3) Did the woman owe the boy a duty of care?
- (4) Could a jury properly find that the boy was negligent and, if yes, what impact will his negligence have on his claim?

DISCUSSION

Summary

Because snowmobiling involves motorized vehicles traveling at high speeds, it is an adult activity. When a minor engages in an adult activity, he can be found negligent if he fails to exercise the same degree of care that a prudent adult would exercise in the same circumstances. A jury could thus properly find that the friend failed to exercise reasonable care by operating a snowmobile on an unmarked trail in a rocky, forested area where there was a risk of hitting hidden objects.

In most jurisdictions, a jury could properly conclude that the landowner owed the boy a duty to reveal hidden dangers such as a chain obscured by snow only if the boy is categorized as a licensee or, alternatively, if the boy is categorized as a trespasser and the landowner is found to have created an attractive nuisance. It is unclear whether the boy could establish that he was a licensee on these facts. If he is classified as a trespasser, rather than a licensee, it is unclear whether the landowner owed him a duty of care based on the attractive-nuisance doctrine because the boy was engaged in an adult activity.

The woman owed no duty of care to the boy because she did not increase the risk of harm by calling 911 and did not induce detrimental reliance.

A jury could properly find that the boy was negligent in entrusting his snowmobile to a 10-year-old who had never been snowmobiling before. In comparative negligence jurisdictions, a finding that the boy was negligent could reduce his damages; in contributory negligence jurisdictions (AL, DC, MD, NC, and VA), a finding that the boy was negligent precludes any recovery.

Point One (25%)

A jury could properly find that the friend is liable to the boy based on a finding that the friend was engaged in an adult activity and that he was negligent in turning off a designated snowmobile trail onto an unmarked logging trail.

Unless a child is engaged in an adult activity, his conduct is to be measured against that of a child of like age, intelligence, and experience. *See* RESTATEMENT (SECOND) OF TORTS § 283A. Under this standard, it is doubtful that a jury could find the friend negligent: he was only 10 years old, and he had not previously engaged in snowmobiling.

However, when a minor engages in a hazardous activity which is “normally undertaken only by adults, and for which adult qualifications are required . . . , he may be held to the standard of adult skill, knowledge, and competence, and no allowance may be made for his immaturity.” *Id.* at cmt. c. Driving a motorized vehicle like a snowmobile is a classic example of an adult activity. Indeed, the Restatement (Third) of Torts provides as examples of dangerous adult activities, “driving a car, a tractor, and a motorcycle, and operating other motorized vehicles such as minibikes, motorscooters, dirt bikes, and snowmobiles.” RESTATEMENT (THIRD) OF TORTS § 10 cmt. f.

A reasonably prudent adult snowmobiler operating a snowmobile in a rocky, forested area would perceive that turning off a marked and designated snowmobiling trail onto a trail not designated for snowmobiling presents a foreseeable risk of injury. An unmarked trail is unlikely to have been prepared for snowmobiling. As the facts make clear, trails in this area often contain hidden hazards—for example, rocks, fallen tree limbs, and stumps—that pose the risk of a collision and that may not be readily visible under the snow on which a snowmobile travels. Thus, a jury could find that the friend was negligent in turning off a marked and designated snowmobile trail onto a logging trail unmarked for snowmobiling.

[NOTE: An examinee may appropriately note that, if the jury finds that the friend was negligent, it should also find that his negligence was the cause-in-fact and proximate cause of the boy’s injuries; the accident would not have happened but for the friend’s action in turning onto the unmarked trail, and hitting a hidden object is an immediate, foreseeable risk of such an action. These conclusions as to cause-in-fact and proximate cause are so obvious that an examinee should not be penalized for failing to note them.]

Point Two (35%)

A jury could find the landowner liable to the boy if he is classified as a licensee to whom a limited duty of care is owed. If the boy is found to be a trespasser rather than a licensee, the jury could find that the landowner is liable only if the attractive-nuisance doctrine applies.

In most states, the landowner’s duty to the boy depends on whether the boy is classified as a trespasser or a licensee. A trespasser is one who enters or remains upon land owned or possessed by another without a privilege to do so. *See* RESTATEMENT (SECOND) OF TORTS § 329. Because the boy and his friend had no privilege to enter the landowner’s property, they may be classified as trespassers.

However, if “in light of all the surrounding circumstances, a reasonable person would interpret the possessor’s words or conduct as manifesting that he is in fact willing for another to enter . . . upon his land,” then the entrant is a licensee, not a trespasser. EDWARD J. KIONKA, TORTS IN A NUTSHELL 250 (5th ed. 2010). The presence of a path may manifest consent. *Id.*

Although posting a “no trespassing” sign would normally negate an implication of consent, the landowner’s “no trespassing” sign was not visible, and thus the boy could be classified as a licensee if the trier of fact concludes that it was reasonably foreseeable to the landowner that snow would obscure the sign and chain during the winter.

If the boy is classified as a licensee, in most jurisdictions the landowner would owe him a duty to reveal hidden dangers of which the landowner “knows or has reason to know” and which the boy was not likely to discover. RESTATEMENT (SECOND) OF TORTS § 342. Here, because the landowner’s property is typically covered with three to four feet of snow during the snowmobiling season, a jury could properly conclude that the landowner knew or had reason to know of the hazard posed by a chain and a “no trespassing” sign only 30 inches above the ground and that he should have posted a higher and more visible warning.

If, however, the boy is classified as a trespasser, in most jurisdictions the landowner would owe him no duty of care to make the premises reasonably safe or to warn of hidden dangers (*see id.* § 333) unless the court finds that the landowner has created an “attractive nuisance.” Under the attractive-nuisance doctrine, a possessor of land is subject to liability for physical harm to a trespassing child when that harm is caused by an artificial condition on the land and

- (a) the place where the condition exists is one upon which the possessor knows or has reason to know that children are likely to trespass, and
- (b) the condition is one of which the possessor knows or has reason to know and which he realizes or should realize will involve an unreasonable risk of death or serious bodily harm to such children, and
- (c) the children because of their youth do not discover the condition or realize the risk involved in intermeddling with it or in coming within the area made dangerous by it, and
- (d) the utility to the possessor of maintaining the condition and the burden of eliminating the danger are slight as compared with the risk to children involved, and
- (e) the possessor fails to exercise reasonable care to eliminate the danger or otherwise to protect the children.

Id. § 339.

Here, the landowner likely had reason to know that a logging trail intersecting a snowmobile trail would offer a tempting detour to young snowmobilers and that the landowner should have foreseen that a chain and sign only 30 inches above the ground could easily become obscured by snow, posing a serious risk of accident and injury to a snowmobiler who deviated onto the logging trail. There is no question that the boy and his friend did not discover the dangerous condition (i.e., the hidden chain); the friend, the driver, clearly did not appreciate the risk and the boy, his passenger, had no opportunity to avoid it. The burden of eliminating the risk is small; all that would be necessary is posting a sign warning of the hazard at a sufficient height to ensure that it remains snow-free. Thus, had the boy and his friend not been engaged in an adult activity, the boy’s claim against the landowner would be strong.

However, the attractive-nuisance doctrine is almost invariably applied when the trespassing child is engaged in an activity appropriate for children; indeed, most of the cases involve “rather young children, usually under 12.” KIONKA, *supra*, at 243. The landowner’s duty “is only to exercise reasonable care to keep the part of the land upon which he should recognize the likelihood of children’s trespassing free from those conditions which . . . are likely not to be observed by children, or which . . . are beyond the imperfect realization of children.” RESTATEMENT (SECOND) OF TORTS § 339 cmt. j. Here, the risk inherent in the hidden chain was a risk only to snowmobilers. The landowner could argue that, because snowmobiling is an adult activity, the attractive-nuisance doctrine would not apply. *See Gaines v. General Motors Corp.*, 789 F. Supp. 38 (D. Mass. 1991) (refusing to apply attractive-nuisance doctrine to minor engaged in unforeseeable adult criminal activity).

Because of the difficulties inherent in classifying entrants onto real property, about half of the states have modified the classifications so as to establish a general duty of reasonable care under the circumstances. But only a handful of states have fully abolished the categories; most have retained the trespasser status and the rules that go with it. *See KIONKA, supra*, at 258–59.

Thus, if the boy is classified as a licensee, a jury may find that the landowner violated his duty of care. If the boy is classified as a trespasser, a jury may find that the landowner violated his duty of care only if it applies the attractive-nuisance doctrine, and a fact-finder may choose not to apply that doctrine given that the boy and his friend were engaged in an adult activity. In a state that has abolished these classifications, the boy may recover if the fact-finder finds that the chain posed a foreseeable risk to foreseeable entrants.

[NOTE: An examinee’s conclusions on trespasser/licensee categorization and whether the attractive-nuisance doctrine is available are less important than a demonstrated understanding of the relevant legal categories. As in Point One, an examinee who concludes that the boy can recover might also appropriately note that the fact-finder should also find that the landowner’s actions were the cause-in-fact and proximate cause of the boy’s injuries. Again, however, these conclusions are so obvious that an examinee should not be penalized for failing to discuss them.]

Point Three (25%)

A jury could not properly find that the woman had a duty to the boy because she did not increase the risk of harm to him beyond that which existed before she called 911, and the boy did not rely on the woman’s exercise of reasonable care to his detriment.

Generally, there is no duty to come to the aid of another. *See KIONKA, supra*, at 121. An actor who undertakes to render services designed to reduce the risk of harm to another does acquire a duty of reasonable care toward the other *if*

- a) the failure to exercise such care increases the risk of harm beyond that which existed without the undertaking, or
- b) the person to whom the services are rendered or another relies on the actor’s exercising reasonable care in the undertaking.

RESTATEMENT (THIRD) OF TORTS § 42.

Here, the woman did not increase the risk of harm beyond that which existed without the undertaking to call for help. Although the time that elapsed between the accident and the boy's rescue caused frostbite injuries, the woman caused no delay; indeed, if she had not called 911, aid would likely have arrived even later than it did. Nor did any individual rely on the woman. She told the 911 dispatcher that she was leaving the scene, and her call did not prevent the boy or anyone else from reporting the accident or taking steps to avoid the harm. *See* RESTATEMENT (SECOND) OF TORTS § 324 ("One who . . . takes charge of another who is helpless . . . is subject to liability to the other for any bodily harm caused to him by . . . the actor's discontinuing his aid . . . , if by so doing he leaves the other in a worse position than when the actor took charge of him.").

Point Four (15%)

A jury could properly find that the boy was negligent in entrusting a snowmobile to an inexperienced 10-year-old. A finding of negligence would reduce the boy's damages award but, in almost all jurisdictions, would not deprive him of his claim.

Because the boy was an experienced snowmobiler who should have been aware of the risks of driving a snowmobile without any training or experience, a jury could find that the boy was negligent in allowing his friend to drive the snowmobile even if it applied the standard of care applicable to children. *See* Point One.

At common law, if the jury found that the plaintiff's negligence was a cause in fact and proximate cause of his injuries, the plaintiff was precluded from recovering damages from the defendant. In other words, if the plaintiff's negligence contributed to the plaintiff's injuries, the plaintiff could not recover from the defendant even though the defendant was also negligent. This contributory-negligence doctrine applies in Alabama, the District of Columbia, Maryland, North Carolina, and Virginia. All other states, however, have abandoned the contributory-negligence doctrine in favor of a comparative-negligence doctrine.

Under the modern "comparative negligence" approach, if the jury finds that two or more parties are negligent, it may apportion fault among them. The amount of damages apportioned to the plaintiff because of the plaintiff's negligence is subtracted from the total damages awarded by the jury. Thus, a finding that the boy was negligent should not deprive him of his cause of action. There are some comparative-negligence jurisdictions in which apportionment is not available unless the jury concludes that the plaintiff is less than 50 percent at fault; in those jurisdictions, if the jury concludes that the boy was 50 percent or more at fault, he cannot recover.

CIVIL PROCEDURE ANALYSIS

(Civil Procedure I.A., B.; III.D.)

ANALYSIS

Legal Problems:

- (1)(a) Does a court have personal jurisdiction to hear a claim against a nonresident corporation when the corporation engaged in significant activity in the state related to the transaction that is the subject matter of the plaintiff's cause of action?
- (1)(b) Does a court have personal jurisdiction to hear a claim against a nonresident individual when the individual produced a brochure for a business, where the brochure is related to the transaction that is the subject matter of the plaintiff's cause of action, and the individual had knowledge that the business would circulate the brochure to consumers in other states in an effort to influence their purchasing decisions?
- (2)(a) Does a federal district court have subject-matter jurisdiction over a complaint that seeks damages from a defendant for making false or misleading statements committed in violation of a federal statute?
- (2)(b) Can a federal district court assert supplemental jurisdiction over a cross-claim asserted by one defendant against another defendant when the claim is part of the same case or controversy as the plaintiff's claim but the cross-claim is based on state law and the defendants are not diverse from each other?

DISCUSSION

Summary

The court has personal jurisdiction over the corporation. The corporation sent representatives to State A where those representatives made a presentation on the corporation's behalf. That presentation, which the woman alleges contained statements that were false, is the basis of the woman's claim. By performing activities in State A, the corporation purposely availed itself of the benefit and protection of State A law, and opened itself to being sued in State A on any claim that might arise from its activities.

Whether the court can assert personal jurisdiction over the consulting engineer is a much closer question. On the one hand, the engineer provided materials to the corporation that he knew would be distributed to prospective buyers across the country. He could reasonably foresee that buyers in other states (including State A) might rely on the brochures in making their purchasing decisions. On the other hand, the engineer's activities (preparing brochures for the corporation) occurred entirely within State B. The engineer was never in State A and did not take any action of his own directed at that state in particular. In the absence of any action by the engineer that was purposefully directed at State A, a court is likely to deny personal jurisdiction over the engineer.

The woman's cause of action is based on federal law. The court therefore has federal-question jurisdiction over the claim. *See* 28 U.S.C. § 1331.

The court also has subject-matter jurisdiction over the engineer's cross-claim. The cross-claim is part of the same case or controversy as the woman's claim, and the court can therefore exercise supplemental jurisdiction over it. *See* 28 U.S.C. § 1367. In some cases a court can decline to take supplemental jurisdiction over a claim over which it would not otherwise have jurisdiction, but no grounds for declining jurisdiction are present here.

Point One(a) (25%)

The corporation has sufficient connection with State A to permit a court to exercise jurisdiction over it with respect to a claim arising out of those contacts.

Federal district courts may exercise personal jurisdiction to the same extent as the courts of general jurisdiction of the state in which the district court sits. *See* FED. R. CIV. P. 4(k)(1)(A). Here, State A's long-arm statute authorizes its courts to exercise jurisdiction as far as the U.S. Constitution allows. So the question is whether the defendants have sufficient contacts with State A such that a State A court could constitutionally exercise jurisdiction over them.

The due process clause of the Fourteenth Amendment permits states to assert personal jurisdiction over nonresident defendants who have established minimum contacts with the state such that the exercise of personal jurisdiction would not offend traditional notions of fair play and substantial justice. *International Shoe Co. v. Washington*, 326 U.S. 310 (1945). This test may be met even if a nonresident defendant has only a few contacts with the state, so long as the contacts relate directly to the causes of action asserted. This is referred to as specific jurisdiction. *Helicopteros Nacionales v. Hall*, 466 U.S. 408 (1984). Under the test for specific jurisdiction, a nonresident defendant is subject to specific jurisdiction when its contacts with the forum state demonstrate purposeful availment of the benefits of the forum state, and the cause of action is related to those contacts. *Id. See also Hanson v. Denckla*, 357 U.S. 235, 253 (1958).

In this case, the corporation sent salespeople to State A to solicit the woman to purchase its product. During this visit, the corporation presented information aimed at inducing the woman to buy the super solar panels, and its sales presentation succeeded. It also shipped its product to the woman in State A. By these actions, the corporation purposefully availed itself of the privilege of doing business in State A and received the benefits that State A generally provides to businesses operating in the state—for example, roads, transportation facilities, and police protection. The woman's claim arises directly out of the corporation's contacts with the state, and the corporation could certainly foresee that it might be haled into a State A court if its conduct during its sales presentations in State A was wrongful. Here, the corporation had sufficient contacts with State A to warrant a court in exercising jurisdiction over the corporation.

Even when a nonresident defendant has the necessary minimum contacts with the forum state, the exercise of personal jurisdiction over the defendant may offend due process if it is inconsistent with traditional notions of fair play and substantial justice. The burden is on the defendant to make a compelling case that the fairness considerations outweigh the existence of minimum contacts. *Burger King Corp. v. Rudzewicz*, 471 U.S. 462, 477 (1985). *See also Asahi*

Metal Indus. Co. Ltd. v. Superior Court of California, 480 U.S. 102 (1987). Here, there are good reasons for the litigation to be in State A rather than anywhere else (e.g., the woman lives there, the defendant engaged in the tortious activity there, and the panels were installed there), and there is nothing to suggest that litigating in State A would impose a particularly onerous burden on the corporation. The court has jurisdiction over the corporation.

Point One(b) (15%)

The engineer is probably not subject to jurisdiction in State A, given that his activities were confined to State B and he did not purposefully avail himself of the benefits or protections of State A law.

The engineer has never been physically present in State A, and there is no evidence that the engineer does business in State A. There is also no evidence that the engineer's activities specifically targeted State A in any way. On the other hand, the engineer did prepare material designed to induce people to purchase super solar panels, with the knowledge that the material would be distributed to potential buyers at sales presentations throughout the country. Furthermore, it was reasonably foreseeable to the engineer that a prospective buyer in another state, including State A, might rely on the accuracy of the information in the brochure when making a purchase decision. The engineer has, in effect, placed the brochure in the stream of commerce and thus reached out across state lines to communicate with and affect the decisions of State A purchasers.

In *J. McIntyre Machinery, Ltd. v. Nicastro*, 131 S.Ct. 2780 (2011), the Supreme Court rejected the so-called "stream of commerce" theory of personal jurisdiction and held that merely placing a product in the stream of commerce with awareness that it might reach a particular state was not a sufficient basis to exercise jurisdiction over the manufacturer of the product. "[T]he exercise of judicial power is not lawful," said the four-justice plurality, "unless the defendant 'purposefully avails itself of the privilege of conducting activities within the forum State . . .'" *Id.* at 2785. In particular, according to the plurality, the transmission of goods (e.g., the brochure) to the forum is a sufficient basis for jurisdiction "only where the defendant can be said to have targeted the forum; as a general rule, it is not enough that the defendant might have predicted that its goods will reach the forum State." *Id.* at 2788. Two concurring justices agreed with the rejection of the "stream of commerce" theory, although they felt that a flexible approach needed to be taken with regard to what additional facts might warrant jurisdiction in a particular case.

Here, the only connection between the engineer and State A is that the engineer put the brochure into the stream of commerce with awareness that it might be relied upon in other states (including, perhaps, State A). Under the decision in *Nicastro*, that connection is simply not enough. In the absence of any facts to suggest that the engineer targeted State A when he prepared the brochure and supplied it to the corporation for distribution, or that the engineer has other connections with State A, the State A court should dismiss the action against the engineer for lack of personal jurisdiction.

Point Two(a) (20%)

The federal district court has subject-matter jurisdiction over the woman's claim because it arises under a federal statute.

Pursuant to 28 U.S.C. § 1331, federal courts have “original jurisdiction of all civil actions arising under the . . . laws . . . of the United States.” This provision gives a federal court subject-matter jurisdiction over any case in which a plaintiff's well-pleaded complaint alleges a cause of action based on federal law. *See Louisville & Nashville R.R. v. Mottley*, 211 U.S. 149, 152 (1908).

In this case, the woman's claim is based on allegations that the defendants made false representations in violation of the federal statute. Whether the woman has a claim on these facts, and whether the defendants' alleged actions did, indeed, violate the federal statute, are questions of federal law central to her claim. Because the claim the woman is asserting is created by federal statutory law, it lies squarely within the district court's original federal-question jurisdiction under § 1331.

[NOTE: The court does not have diversity jurisdiction over the case because the woman is seeking only \$30,000, well below the \$75,000 amount-in-controversy requirement that applies to diversity actions. *See* 28 U.S.C. § 1332(a).]

Point Two(b) (40%)

The federal court has supplemental jurisdiction over the engineer's cross-claim, and there is no reason for it to decline to exercise that jurisdiction.

There is no basis on which a federal court could hear the engineer's cross-claim if it had been brought as an independent action. The claim is an ordinary contract claim based on state law, so there is no federal-question jurisdiction. Furthermore, because the engineer is a resident of State B and the corporation is incorporated and has its principal place of business in State B, they are both considered citizens of that state, so the court would have no diversity jurisdiction. Even if they were diverse, the amount in controversy (a \$30,000 claim for indemnity) is inadequate for diversity jurisdiction.

However, once a court has original jurisdiction over some claims in the action, it may also exercise supplemental jurisdiction over additional claims that are part of the same case or controversy. 28 U.S.C. § 1367(a). *See also United Mine Workers of America v. Gibbs*, 383 U.S. 715 (1966). As noted, in the present problem the federal court could exercise federal-question jurisdiction over the woman's claims against the two defendants. The question, therefore, is whether the engineer's cross-claim is sufficiently related to the woman's claim to be part of the same case or controversy. There are significantly overlapping facts indicating that the two claims really are part of a single case. The engineer alleges that the corporation owes him indemnity based on the terms of contract between the corporation and the engineer pursuant to which the engineer prepared the very material that the woman alleges was false. The material in question, and its accuracy or inaccuracy, is central to the woman's claim, and the contract between the

engineer and the corporation for the production of that material will probably be relevant to an assessment of her allegations against each party. Second, the two claims are legally linked. For the corporation to be liable to the engineer under the contract, the engineer must first be found liable to (or must settle with) the plaintiff.

Assuming that the court finds that the § 1367(a) standard is met, then the court must consider whether there are any discretionary reasons to decline to exercise jurisdiction, as set forth in § 1367(c). The discretionary grounds for declining jurisdiction include the presence of novel or complex issues of state law in the case (*see* § 1367(c)(1)), state-law claims that predominate over the federal claim in the case (§ 1367(c)(2)), or the district court's dismissal of all the claims over which it had original jurisdiction (§ 1367(c)(3)). In the present case, none of the identified grounds for refusing jurisdiction are applicable, and there are no exceptional circumstances that provide a compelling reason for declining jurisdiction.

CONTRACTS ANALYSIS

(CONTRACTS II.G.; IV.; V.A., B.)

ANALYSIS

Legal Problems:

- (1) Is an oral contract for the sale of goods for a price of \$500 or more enforceable against a buyer who later sends a signed letter that indicates that the contract exists?
- (2) If a party sends a letter stating a clear intention not to perform in accordance with a contract, but later tries to withdraw that statement, may the other party bring an action for breach of contract?
- (3) What is the measure of damages if a buyer breaches a contract for the sale of goods and the seller resells the goods?

DISCUSSION

Summary

The parties' agreement created a contract for the sale of goods governed by Article 2 of the Uniform Commercial Code (UCC). Under the statute-of-frauds provision in Article 2 of the UCC, a contract for the sale of goods for a price of \$500 or more is not enforceable unless there is a writing signed by the party against whom enforcement is sought that is sufficient to indicate that a contract for the sale of goods has been made between the parties. Although the writing need not state all the terms of the contract, the quantity must be stated.

The buyer's signed letter to the seller, indicating that he would not buy in accordance with the agreement between them, is sufficient to indicate that a contract for the sale of goods was made, and the letter clearly indicates that the agreement was for only one doll, so the quantity requirement is satisfied. As a result, the contract is enforceable against the buyer.

The buyer's letter was also a repudiation of the contract. When a party repudiates, the other party may await performance or immediately resort to any remedy for breach. While a repudiating party may sometimes "retract" its repudiation, the buyer's attempt to do so here was unsuccessful because the seller had materially changed her position in reliance on the repudiation and had indicated that she considered the repudiation to be final.

Because the seller resold the doll to the collector for \$1,000 less than the contract price with the buyer, the seller is entitled to that \$1,000 difference plus the additional delivery costs of \$150 incurred by the seller.

Point One (30%)

The parties entered into a contract for the sale of goods governed by Article 2 of the Uniform Commercial Code. Because the contract price was \$500 or more, the contract would not be enforceable against the buyer unless the buyer signed a writing sufficient to indicate that a contract for the sale of goods had been made (or an exception to that rule was applicable). The buyer's letter stating his intention not to perform the contract is sufficient to indicate that a contract was made. Therefore, the contract is enforceable against the buyer.

Article 2 of the Uniform Commercial Code applies to transactions in goods. UCC § 2-102. “Goods” are “things moveable” at the time of identification to the contract. UCC § 2-105(1). The doll was clearly moveable at the time of identification, so the transaction is governed by Article 2.

Under UCC Article 2, a contract may be formed in any manner sufficient to show agreement. UCC § 2-204(1). The telephone conversation between the seller and the buyer clearly satisfies this requirement and created a contract to sell the doll to the buyer.

However, a contract for the sale of goods for a price of \$500 or more is not enforceable against a party unless there is a writing signed by that party sufficient to indicate that a contract for sale has been made (or an exception to this rule applies). UCC § 2-201(1). Here, the contract price for the doll was \$12,000, so this writing requirement is applicable. The writing need not contain all the terms of the contract, but the contract is not enforceable against the party beyond the quantity of the goods shown in writing. *Id.* (This rule is generally interpreted as indicating that a writing does not suffice unless it contains a quantity term. *See* UCC § 2-201, comment 1 paragraph 3.)

Although the contract was oral, the letter the buyer sent to the seller on May 2 was signed by the buyer and is sufficient to indicate that a contract for sale was made between them. After all, it states that the parties “agreed” to the sale of the doll. As to the quantity requirement, the letter refers to “the” 1820 doll, clearly indicating that the contract was for the sale of only one doll. Hence, the buyer’s letter to the seller is sufficient to satisfy the requirements of the Article 2 statute of frauds. Accordingly, the contract is enforceable by the seller against the buyer.

Point Two (40%)

The buyer repudiated the contract, and his attempt to retract that repudiation was unsuccessful. Therefore, the seller has a cause of action against the buyer for breach of the contract.

UCC § 2-610 provides that if “either party repudiates the contract with respect to a performance not yet due the loss of which will substantially impair the value of the contract to the other” the aggrieved party may for a reasonable time await performance by the repudiating party or resort to any remedy for breach. Although Article 2 does not define “repudiation,” Comment 1 to UCC § 2-610 states that repudiation “centers upon an overt communication of intention or an action which renders performance impossible or demonstrates a clear determination not to continue with performance.”

Here, the buyer’s letter said: “I have decided not to buy the 1820 doll that we agreed yesterday you would sell to me.” That positive and unequivocal statement that the buyer will not perform “demonstrates a clear determination not to continue with performance.” In addition, the buyer’s failure to buy the doll would clearly “substantially impair the value of the contract” to the seller. Thus, the buyer’s action constituted repudiation and would entitle the seller to pursue remedies for breach.

A repudiating party may, under some circumstances, retract its repudiation. UCC § 2-611(1). On May 5, the buyer indicated that he would perform when he said, “I made a mistake when I sent the letter, and I will buy the doll from you on the terms we agreed to.” But the power

to retract a repudiation terminates when the aggrieved party has done any of the following: (1) cancelled, (2) materially changed his position, or (3) otherwise indicated that he considers the repudiation to be final. UCC § 2-611(1).

Here, the seller materially changed her position in reliance on the buyer's repudiation when she agreed to resell the doll to the collector, because the seller committed herself to a substitute transaction inconsistent with performing the contract with the buyer. Moreover, the seller clearly indicated to the buyer on May 3 that she considered the buyer's letter to be "the final end" to their deal. Therefore, the buyer lost the ability to retract the repudiation no later than May 3, two days before the buyer attempted to retract his repudiation. Hence, the buyer's attempted retraction of his repudiation was ineffective.

Point Three (30%)

The seller resold the doll and, accordingly, is entitled to damages equal to the \$1,000 difference between the contract price and the resale price plus incidental damages of \$150.

The purpose of remedies under the UCC is to put the aggrieved party "in as good a position as if the other party had fully performed." UCC § 1-305(a). This is another way of stating the "expectation" principle of contract remedies. Here, if the buyer had performed, the seller would have sold the doll to the buyer for \$12,000 and would have incurred no additional delivery costs (other than the negligible costs of driving to the buyer's home in the same city). After the buyer's breach, the seller sold the doll for only \$11,000 and incurred an additional cost of \$150 to transport the doll to the collector.

Under UCC Article 2, when a buyer breaches or repudiates, the seller has several remedies, including the remedy of reselling the goods. UCC § 2-703(d). If the resale is made in good faith and in a commercially reasonable manner, the seller can recover the difference between the contract price and the resale price plus incidental and consequential damages. UCC § 2-706(1). If the resale is by private sale (as opposed to, say, by a public auction), this remedy is available only if the seller gives the buyer reasonable notification of the seller's intention to resell. UCC § 2-706(3). Here, the facts indicate that when the seller sold the doll to the collector, the seller acted in good faith and in a commercially reasonable manner. Moreover, the seller told the buyer on May 3 that she intended to resell the doll and hold the buyer responsible for any damages, thus providing the buyer with notice of the seller's intention to resell the goods.

Accordingly, the seller is entitled to recover the \$1,000 difference between the contract price (\$12,000) and the resale price (\$11,000). The seller is also entitled to recover "incidental damages," which include "any commercially reasonable charges [or] expenses . . . incurred . . . in connection with return or resale of the goods." UCC § 2-710. Here, the seller incurred \$150 in commercially reasonable transportation costs in connection with the resale of the doll to the collector, and as a result, the seller's incidental damages would be \$150. There are no facts indicating that the seller suffered any consequential damages. Hence, the seller's total damages would be \$1,000 + \$150, for a total of \$1,150.

CORPORATIONS ANALYSIS

(Corporations VI.A.)

ANALYSIS

Legal Problems:

- (1) Was the corporation's sale of the tower a "director's conflicting interest transaction"?
- (2) Was the board's authorization of the sale of the tower protected by the business judgment rule?
- (3) Did the corporation's directors breach their fiduciary duty of loyalty by authorizing the sale?
- (4) Did the corporation's directors breach their fiduciary duty of care in the way they authorized the sale?

DISCUSSION

Summary

The sale of the tower is subject to judicial scrutiny as a "director's conflicting interest transaction" because it was a transaction between the corporation and an entity in which the corporation's directors had a material financial interest. The business judgment rule does not protect the board's authorization of the sale because all the directors who authorized the transaction had a material financial interest in the sale, by virtue of their interest in LLC. Nor was there any shareholder approval.

The directors likely breached their duty of loyalty. Because this was a self-dealing transaction, the directors bear the burden of demonstrating that the sale was substantively and procedurally fair to the corporation. It is unlikely that they can demonstrate substantive fairness because nothing in the facts presented would support a finding that the price of the tower at the time of the sale was fair. It is also unlikely that the directors can demonstrate procedural fairness given their failure to obtain an up-to-date independent appraisal or to undertake another "market test" of the property's value.

The directors also likely breached their duty of care by failing to diligently and adequately consider the transaction's fairness to the corporation. The directors exhibited gross negligence in not inquiring about the continuing validity of the dated appraisal and by not considering other means to ensure the fairness of the transaction to the corporation.

[NOTE: The analysis of this question tracks the analysis specified by Subchapter F of the Model Business Corporation Act (MBCA). Similar analysis would apply in a jurisdiction that has not adopted Subchapter F, but either has an interested-director provision modeled on former MBCA § 8.31 (1984) or relies on modern common law principles applicable to director self-dealing transactions.]

Point One (20%)

The sale of the tower was a “director’s conflicting interest transaction” (or director self-dealing) because the directors of the corporation had adverse financial interests as owners of LLC.

The corporation’s directors were on both sides of the transaction, both authorizing it for the corporation and standing to gain from it as owners of LLC. The MBCA defines a “director’s conflicting interest transaction” as one effected by the corporation “respecting which . . . the director had knowledge and a material financial interest.” MBCA § 8.60(1)(ii). The sale of the tower meets this definition of director self-dealing and is subject to special scrutiny.

The directors’ financial interest in the transaction is clearly “material.” Each director’s one-fourth ownership of LLC is likely to have impaired his or her objectivity in considering the transaction. *See* Official Comment 4 to MBCA § 8.60 (materiality of financial interest measured under objective standard). In addition, all the directors were aware that the transaction was with their LLC.

In a jurisdiction with an “interested director” statute, the sale of the tower would qualify as a “director’s conflicting interest transaction” given that it was a transaction with the corporation and one in which the directors had a direct or indirect interest. *See* former MBCA § 8.31; Del. GCL § 144 (“transaction between a corporation . . . and any other corporation . . . in which one or more of its directors . . . have a financial interest”). The conflict of interest is indirect because the directors of the corporation have a “material financial interest” in the other party, here the new LLC. *See* MBCA § 8.31(a).

[NOTE: In jurisdictions without an “interested director” statute, the common law would treat the transaction as one involving classic director self-dealing. *See Cookies Food Products, Inc. v. Lakes Warehouse Distributing, Inc.*, 430 N.W.2d 447 (Iowa 1988) (duty of loyalty “derives from ‘the prohibition against self-dealing that inheres in the fiduciary relationship’”).]

Point Two (30%)

The board’s authorization of the sale of the tower is not protected by the business judgment rule because the transaction was not authorized by a majority of informed, disinterested directors.

A “director’s conflicting interest transaction” (that is, a director self-dealing transaction) is not absolutely prohibited. Instead, modern corporate law permits such transactions—with the consequence that the business judgment rule applies if, after full disclosure of all relevant facts, qualified directors authorized the transaction. *See* MBCA § 8.61(b) (safe harbor); Del. GCL § 144. *See also Benihana of Tokyo, Inc. v. Benihana, Inc.*, 906 A.2d 114 (Del. 2006) (holding that § 144 creates safe harbor for interested director transactions, resulting in application of business judgment rule, provided material facts are disclosed or known to board, and majority of disinterested directors in good faith authorize transaction). If, however, the self-dealing transaction is not shown to have been properly authorized, the business judgment rule does not apply and the transaction must be shown to have been fair to the corporation.

Here, the MBCA safe harbor for proper board authorization does not apply. There was no authorization of the sale of the tower by qualified directors—that is, by directors who did not have an interest in the transaction. *See* MBCA § 1.43(a)(3)(i) (defining “qualified director” for purposes of director-authorization safe harbor as not including “director as to whom the transaction is a director’s conflicting interest transaction”). As elaborated in Point One, the only directors who authorized the transaction were those who had a conflict of interest. Thus, the presumption of the business judgment rule that the directors were informed and acted in good faith is not available because each of the directors had a material conflicting interest in the sale of the tower. *See Aronson v. Lewis*, 473 A.2d 805, 812 (Del. 1984) (presumption that in making business decisions, the directors acted on informed basis, in good faith, and in best interests of corporation not available to interested directors).

[NOTE: Approval or ratification of the transaction by qualified shareholders, after full disclosure of all relevant facts, would in some jurisdictions remove the transaction from further judicial review and in others subject it only to review for waste. But here there was no such approval or ratification.]

Point Three (30%)

The directors likely breached their duty of loyalty because it is unlikely they could show that the transaction was substantively and procedurally fair to the corporation.

Even if the sale of the tower was not properly authorized, the directors can satisfy their fiduciary duty of loyalty by showing that “the transaction, judged according to the circumstances at the relevant time, was fair to the corporation.” *See* MBCA § 8.61(b)(3); *see also Marciano v. Nakash*, 535 A.2d 400, 405 n.3 (Del. 1987).

The directors have the burden to show that the transaction as a whole was fair in terms of “fair price” and “fair dealing.” This means courts will inquire into (1) whether the transaction price was comparable to what might have been obtained in an arm’s-length transaction, given the consideration received by the corporation, and (2) whether the process followed by the directors in reaching their decision was appropriate. *See* Official Comment 6 to MBCA § 8.60. A breach of the directors’ duty to deal fairly with the corporation can result in personal liability. *See* MBCA § 8.31(a)(2)(v) (receipt of financial benefit to which director not entitled under applicable law).

Here, the directors may argue that the \$12 million price paid by LLC for the tower made the transaction substantively fair because the price was within the range of offers (\$8 to \$13 million) received by the corporation when the tower was offered for sale two years before. *See HMG/ Courtland Properties Inc. v. Gray*, 749 A.2d 94 (Del. Ch. 1999) (price within range of offers is fair). The directors may point out that the sales price was also within the range of values of the appraisal (\$12 to \$15 million). Additionally, the directors may argue that even if the sale was not at the highest valuation received by the corporation for the tower, the sale gave the corporation non-economic advantages by enabling it to “have time to relocate to a new headquarters.” Finally, the directors may argue that the transaction was procedurally fair because information about the value of the tower was already known to them and there was no reason to make further inquiries.

It is unlikely, however, that the directors’ arguments would meet their burden to show the transaction’s fairness. As to substantive fairness, the offers and appraisal relied on by the directors

occurred two years before the sale to LLC, and the \$12 million sales price is less than the \$13 million offer that the CEO had rejected as insufficient. As to procedural fairness, the directors did not conduct a new market test or seek other purchasers. The process of the board's decision was flawed: the meeting was conducted in 10 minutes, there was no discussion of whether market circumstances had changed since the two-year-old appraisal or whether to seek another appraisal, and there was no consideration of looking for other purchasers or conducting another market test. Finally, the directors did not consider whether another buyer other than LLC would be willing to accommodate the corporation's need for time to locate and move to new headquarters.

Point Four (20%)

The directors likely breached their fiduciary duty of care in authorizing the sale of the tower because they did not become adequately informed prior to their decision.

Under the MBCA, a director is called on to exercise “the care that a person in a like position would reasonably believe appropriate under similar circumstances” in “becoming informed in connection with their decision-making function.” MBCA § 8.30(b). A director may be liable for harm to the corporation from a board decision where it is proven that the director was “not informed to an extent the director reasonably believed appropriate in the circumstances.” MBCA § 8.31(a)(2)(ii)(B); *see also Smith v. Van Gorkom*, 488 A.2d 858, 873 (Del. 1985) (directors breach duty of care when grossly negligent in informing themselves about board decision).

Normally, “the party attacking a board decision as uninformed must rebut the presumption that its business judgment was an informed one.” *Smith v. Van Gorkom*, 488 A.2d at 872; *see also* MBCA § 8.31(a)(2)(ii) (to similar effect). But here the presumption of the business judgment rule does not apply, given that the directors were each financially interested in the transaction (*see* Point Two).

A strong case can be made that the directors were grossly negligent in informing themselves about the sale of the tower to LLC, and thus that they breached their fiduciary duty of care. As discussed in Point Three, the directors decided to sell the tower at a board meeting that lasted 10 minutes; the only document they reviewed was a two-year-old appraisal; they did not discuss whether market circumstances had changed since the appraisal; they did not seek another appraisal; they did not consider looking for other purchasers, including an accommodating purchaser, or conducting another market test; and they did not discuss how the CEO had conducted the earlier market test. *See Smith v. Van Gorkom*, 488 A.2d 858 (finding directors were grossly negligent for authorizing cash-out merger in reliance on 20-minute oral presentation by corporation's chief executive officer without written summary of merger terms or documentation to support price adequacy).

[NOTE: For the shareholder to recover money damages based on a claim that the directors breached their duty of care, the shareholder would have to prove that the corporation was harmed by a sales price that was below market and that the sales price was proximately caused by the directors' failure to become adequately informed. *See* MBCA § 8.31(b)(1). These showings, however, are not elements of whether the directors breached their duty of care.]

CRIMINAL LAW AND PROCEDURE ANALYSIS

(Criminal Law and Procedure I.B.2., B.3.; IV.C.1., E.)

ANALYSIS

Legal Problems:

- (1) Can the woman establish the affirmative defense of not guilty by reason of insanity by showing that, under the State A statute, at the time of the charged crime (a) she suffered from a severe mental disease or defect and (b) as a result of that mental disease or defect, she did not know that her actions were wrong?
- (2) Do the facts support charging the man with manslaughter based on proof that (a) he caused the death of another person, (b) he should have been aware of a substantial risk that another human being could be killed by his conduct, (c) his actions were a gross deviation from the standard of care that a reasonable person would have exercised in the same situation, and (d) his actions were in violation of traffic laws?
- (3) If the man is charged with manslaughter, do the facts support the affirmative defense of duress?

DISCUSSION

Summary

The defense of not guilty by reason of insanity (“NGRI”) is not supported by the evidence and likely cannot be established by the woman. Under State A’s NGRI statute, the woman must show that (1) she suffered from a severe mental disease or defect at the time of the charged crime and (2) as a result of that mental disease or defect, she did not know that her conduct was wrong. The two psychiatric reports support a finding that the woman suffered from a severe mental disease (schizophrenia) that caused her to experience delusional beliefs regarding alien photographers. But the evidence does not support a finding that the woman’s delusions prevented her from knowing that it was wrong to kidnap the man and force him at knifepoint to drive 85 mph on a busy highway just to avoid having her picture taken without compensation.

The facts support charging the man with some form of involuntary manslaughter (e.g., criminal-negligence manslaughter or unlawful-act manslaughter). First, the man’s actions caused the death of the motorcyclist. Second, anyone who drives 85 mph on a busy highway and tries to pass a motorcyclist (a relatively exposed and vulnerable highway user) on a curve while weaving in and out of traffic should be aware of a substantial and unjustifiable risk that another human being could be killed as a result of his conduct. Third, the man’s actions were a gross deviation from the standard of care that a reasonable person would have exercised in the same situation. Fourth, the man’s speeding and reckless driving were serious traffic violations sufficient to make the man criminally accountable for the resulting death in many jurisdictions.

However, if the man is charged with manslaughter, he will almost certainly raise the affirmative defense of duress. Here, the facts support a legal finding of duress. The man’s conduct was

caused by his reasonable belief that obeying the woman's demand to drive faster was the only way for him to avoid imminent death or serious bodily injury. Moreover, because he was already driving the car on a busy highway when the woman pulled out the knife and placed it against his neck, he had no opportunity to extricate himself from the threatening situation. Finally, although duress generally cannot excuse a charge of intentional homicide, here the facts do not support a finding that the man's killing of the motorcyclist was intentional.

Point One (40%)

Even with the admission of the two psychiatric reports, the evidence does not support the affirmative defense of not guilty by reason of insanity.

State A, like most states that provide a not guilty by reason of insanity ("NGRI") defense, limits the defense to a defendant who can show that, at the time of the charged crime, she suffered from a "severe mental disease or defect," and that, as a result of that mental disease or defect, "she did not know that her conduct was wrong." See generally WAYNE R. LAFAVE, CRIMINAL LAW, CHAPTER 7: INSANITY DEFENSE (5th ed. 2010). This is essentially the *M'Naghten* version of the NGRI defense, derived from the opinion in *M'Naghten's Case*, 8 Eng. Rep. 718 (1843).

Although there is no universal definition of mental illness that satisfies the legal requirement of a "severe mental disease or defect," a serious mental disease like schizophrenia should qualify, especially when accompanied by delusions or other significant impairments of a defendant's capacity to recognize reality. See, e.g., *Billiot v. State*, 515 So. 2d 1234, 1237 (Miss. 1987) (finding that a schizophrenic individual with a delusional thought process had a severe mental disease). Thus, if the jury finds that the woman was suffering from schizophrenia accompanied by delusional beliefs at the time of the charged crime, this finding should establish that she suffered from the type of severe mental disease or defect contemplated by the State A NGRI statute. See RICHARD J. BONNIE ET AL., A CASE STUDY IN THE INSANITY DEFENSE: THE TRIAL OF JOHN W. HINCKLEY JR. 28–31 (3d ed. 2008) (discussing this famous case involving an insanity defense premised on evidence that the defendant suffered from schizophrenia). See also *State v. Becker*, 2011 WL 3925431 (Iowa Ct. App. 2011) (unpublished) (noting that expert testimony that defendant suffered from paranoid schizophrenia had been introduced to support his insanity defense).

However, a finding that the woman was suffering from a "severe mental disease or defect" at the time of the charged crime is necessary but insufficient to establish her NGRI defense. The jury must also find that, as a result of that mental disease or defect, the woman did not know that her conduct was "wrong." See, e.g., *State v. Milton*, 142 So. 3d 157 (La. Ct. App. 2014) (rejecting defendant's defense (under a similar NGRI statute) because the defendant had failed to prove that his mental disease left him unable to distinguish right from wrong and noting that a propensity to commit wrong acts does not necessarily entail an inability to differentiate right from wrong); *People v. Stoffel*, 794 N.Y.S.2d 230 (N.Y. App. Div. 2005) (affirming defendant's conviction, despite substantial defense proof that at the time of the charged crime he suffered from paranoid schizophrenia and delusional beliefs, because his delusions did not prevent him from knowing right from wrong).

States differ as to the definition of “wrong” for NGRI purposes. Some states provide the defense only if the defendant’s severe mental disease or defect prevented her from knowing that her acts were criminal. Other states provide the defense even if the defendant knew that her actions were legally wrong (i.e., against the law) but did not know that her actions were morally wrong (i.e., the type of acts that society would condemn). Finally, other states have not explained whether they define “wrong” as legally or morally wrong. *See* LAFAVE, *supra*, § 7.2(b) at 406–07.

Here, there is no evidence that the woman’s schizophrenia prevented her from knowing that it was legally wrong to kidnap the man and force him at knifepoint to drive well above the speed limit on a busy highway. As the woman explained, her actions were motivated by her concern that alien photographers might take her picture for profit without providing her with compensation. Moreover, the fact that she told the man to “forget the speed limit” provides evidence that she was aware that the speeding was illegal.

There is also no evidence that the woman’s schizophrenia prevented her from knowing that her actions were morally wrong. The lack of evidence on this point is significant because, in some jurisdictions, a defendant can be found NGRI—even if she knows that her actions are illegal—if she does not know that they are morally wrong. *See, e.g., State v. Castillo*, 713 S.E.2d 190, 194–95 (N.C. Ct. App. 2011) (noting that North Carolina applies a version of *M’Naghten* under which a defendant can be exonerated if he did not think that his acts were morally wrong). Here, there is no evidence that the woman’s schizophrenic delusion that celebrity-stalking aliens should pay for her photograph prevented her from recognizing the immorality of her decision to kidnap the man and force him at knifepoint to speed on a busy highway. *See id.*; *see also State v. Potter*, 842 P.2d 481, 486–87 (Wash. Ct. App. 1992) (rejecting defendant’s defense (under a similar NGRI statute) that a defendant can be adjudged insane who has cognitive ability (the ability to know an act is wrong, legally and morally), but lacks volitional control (the ability to control one’s behavior despite cognitive ability)).

[NOTE: Some jurisdictions provide that the insanity defense is available to a defendant who, as a result of a severe mental disease or defect, “lacks substantial capacity” to “appreciate” the wrongfulness of the behavior. *See* LAFAVE, *supra*, § 7.5(a) at 420, fn. 2. This test is not the rule in State A, and an examinee should receive no credit for analyzing it. This test is generally understood to broaden the insanity defense to cover cases where a mental disease results in a significant affective or emotional impairment. In these jurisdictions, unlike in State A, a defendant who knew that her behavior was wrong might still be found NGRI, if the defense proved that her mental disease prevented her from emotionally appreciating the wrongfulness of her conduct. In such a jurisdiction, the woman would have a somewhat higher likelihood of establishing the insanity defense on the facts of this problem, although she still might be unsuccessful.]

Point Two (40%)

The facts support charging the man with manslaughter.

In most jurisdictions, a person who recklessly causes the death of another can be charged with so-called “depraved-heart” murder if the person acted with “extreme indifference to the value of human life.” MODEL PENAL CODE § 210.2(1)(b). Generally, however, reckless driving alone would not lead to a charge of depraved-heart murder. Such a charge would be appropriate only if the reckless driving was combined with intoxication or other aggravating factors. *See, e.g., Cook v. Commonwealth*, 129 S.W.3d 351 (Ky. 2004) (defendant was intoxicated and driving at an excessive speed); *State v. Woodall*, 744 P.2d 732 (Ariz. Ct. App. 1987) (intoxicated, driving almost 70 mph on a 40-mph double curve). Here, there are no additional aggravating factors, so it is unlikely that the man would be charged with depraved-heart murder.

A manslaughter charge, on the other hand, is quite possible. In most jurisdictions, a defendant whose conduct causes the death of another human being can be charged with manslaughter if the defendant acted with criminal negligence, which can include the criminally negligent operation of a motor vehicle. *See generally* WAYNE R. LAFAYE, CRIMINAL LAW § 15.4 (5th ed. 2010).

The man likely satisfied the *actus reus* of criminally negligent manslaughter. He engaged in the act of driving his car in a manner that violated the traffic laws and his high speed and weaving through traffic created a substantial risk of an accident and serious injury to others. *See, e.g., McGuire v. State*, No. 01-11-01089-CR, 2012 WL 344952, at *2 (Tex. App. Houston (1st Dist.), Feb. 2, 2012) (unpublished) (citing cases in which courts found that driving automobiles in violation of traffic laws satisfied the *actus reus* requirement of negligent homicide). His conduct also was both the actual (“but for”) and proximate cause of the motorcyclist’s death. The death was the direct result of the man striking the motorcyclist with his car, and there were no unforeseeable superseding causes. *See, e.g., People v. Prue*, 779 N.Y.S.2d 271 (N.Y.A.D. 3 Dept. 2004) (finding that the defendant was the direct cause of the victim’s death because the victim was alive before the accident and would not have died but for the accident).

The only question is whether the man acted with the requisite *mens rea* required for manslaughter. In some states, criminal negligence is present whenever a person’s conduct creates a substantial risk of death and the defendant’s actions were a gross deviation from the standard of care that a reasonable person would have exercised in the same situation. In other states, it is also necessary to prove that the defendant was aware of the fact that the conduct created a substantial risk of death. *See* LAFAYE, *supra*, § 15.4(a).

Here, the man was driving at the excessive speed of 85 mph on a busy highway, was weaving in and out of traffic, and tried to pass a motorcycle on a curve. Based on these facts, a fact-finder could conclude that the man had the requisite *mens rea* for criminal-negligence manslaughter. An ordinary person would have been aware that this kind of driving created a substantial and unjustifiable risk that a driver would lose control of the car, hit the motorcyclist or others on the highway, and cause death. The man’s actions were also a gross deviation from the standard of care that a reasonable person would have exercised in the same situation. Courts have upheld jury verdicts finding that defendants acted with criminal negligence under similar circumstances. *See, e.g., State v. Donato*, No. IN89-06-0858, 1990 WL 140073, at *2 (Del. Super. Aug. 15,

1990) (denying defendant's motion for a judgment of acquittal when the jury found him guilty of negligent homicide after he struck and killed the victim while going 20 mph over the speed limit and not paying attention to the road). If State A requires actual awareness of a substantial risk of death, a manslaughter charge would still be warranted because the man must have been aware that his driving could easily cause a fatal accident.

In some states, manslaughter is also committed when a death occurs as a result of a defendant's commission of an unlawful act. Here, the man's excessive speeding and dangerous weaving through traffic were both serious traffic violations sufficient to serve as predicate offenses for a charge of unlawful-act manslaughter. *See* LAFAVE, *supra*, § 15.5.

Point Three (20%)

The facts support the affirmative defense of duress because the man's conduct was caused by his reasonable belief that obeying the woman's instructions to drive faster was the only way to avoid imminent death or serious bodily injury.

The typical affirmative defense of duress excuses defendants from criminal liability if their conduct was committed "under the pressure of an unlawful threat from another human being to harm" the defendant. *See* WAYNE R. LAFAVE, CRIMINAL LAW § 9.7(a) (5th ed. 2010). The unlawful threat must cause the defendant to reasonably believe that "the only way to avoid imminent death or serious bodily injury to himself or to another is to engage in conduct which violates the literal terms of the criminal law." *Id.* § 9.7. The defendant must also prove that he engaged in the criminal behavior *because* of the threat and not for some other reason. The rationale for the duress defense is that "even though he has done the act the crime requires and has the mental state which the crime requires, his conduct violating the literal language of the criminal law is excused because he 'lacked a fair opportunity to avoid acting unlawfully.'" *Id.* § 9.7(a) at 520 (internal citation omitted).

Here, the man almost certainly will succeed with an affirmative defense of duress. His physical conduct (driving at an excessive rate of speed and in a reckless manner) was in response to the woman's direct threat of death or serious bodily harm. Under the circumstances, it was reasonable for him to fear for his life because his assailant was holding a knife to his throat in a car, and her behavior indicated that she was mentally unbalanced, making it more likely that she would carry out her threat. Because the man was already driving the car on a busy highway when the woman pulled out the knife and placed it against his neck, he had no opportunity to extricate himself from the threatening situation. *See United States v. Johnson*, 416 F.3d 464 (6th Cir. 2005).

The Model Penal Code defines the affirmative defense of duress as a threat such that a person of reasonable firmness would be unable to resist it. *See* MODEL PENAL CODE § 2.09(1). This standard, which is followed in several jurisdictions, is also satisfied here. A person of reasonable firmness of character would very likely be unable to resist the threat posed by the woman under these circumstances. At the common law, and in most jurisdictions today, duress is not available as a defense to any kind of intentional homicide. LAFAVE, *supra*, § 9.7(b). In this case, however, the man had no intention of killing the motorcyclist. Thus, there is no bar to his asserting the defense against a charge of negligent homicide.

TRUSTS ANALYSIS

(Trusts I.H., I.)

ANALYSIS

Legal Problems:

- (1) Is the trust condition providing for the termination of an income interest upon marriage invalid as a matter of public policy?
- (2) Did the trustee violate his duty of loyalty by purchasing the stock of the closely held corporation from the trust and, if so, what damages or other remedies are the trust beneficiaries likely to obtain?
- (3) Did the trustee violate the prudent investor rule by investing trust principal in a balanced portfolio of mutual funds with potential for growth and current income and retaining those investments after they declined in value?

DISCUSSION

Summary

A trust condition that provides for the termination of a beneficiary's interest upon marriage is void as against public policy, except when the beneficiary is the trust creator's spouse. Thus, the son's interest would not terminate upon his marriage.

A trustee's purchase of trust assets is an act of self-dealing and a breach of the duty of loyalty. The trust beneficiaries can either rescind the transaction or seek damages. Where, as here, the value of the asset has substantially declined, the beneficiaries are more likely to seek money damages (here, \$300,000) for the breach.

Neither the investment of trust assets in a balanced portfolio of mutual funds with potential for growth and current income nor the retention of those assets during a period of general economic decline violates the prudent investor rule. Thus, neither the son nor the charity is entitled to damages here.

Point One (30%)

The son's income interest in the trust would not terminate upon his marriage because the condition against marriage is void as a matter of public policy.

Provisions of trusts that violate public policy are void. RESTATEMENT (THIRD) OF TRUSTS § 29. Trust provisions that restrain a first marriage have generally been held to violate public policy. *Id.* Comment j; RESTATEMENT (SECOND) OF PROPERTY § 6.1 (a provision restraining any first marriage is invalid and the transfer takes effect "as though the restriction had not been imposed."). In his hornbook, Professor Bogert states: "[T]he common law has a well-defined interest in preserving *freedom of marriage . . . and in the preservation of the family relation* Hence provisions in a trust instrument which provide that a beneficiary shall have no interest under the trust unless he *obeys the instructions of the settlor regarding marriage* may be held

illegal as against public policy.” Although courts have upheld some restrictions on marriage—for example, remarriage—none have upheld a complete restraint on a first marriage. GEORGE G. BOGERT, TRUSTS § 48 (6th ed. 1987) (footnote omitted; emphasis added). *See also* RESTATEMENT (FIRST) OF PROPERTY § 424–426 (1944). Thus, because the son’s income interest would terminate upon his marriage, no matter what the circumstances of that marriage, the provision is void and the son’s income interest continues.

A restraint on marriage might be upheld if the trustee’s motive was merely to provide support for a beneficiary while the beneficiary is single. Here, there are no facts to support that motive. In fact, because this is a mandatory income payout trust, the trust income is payable to the son without regard to his support needs.

Point Two (35%)

The trustee breached his duty of loyalty by purchasing stock from the trust, an act of self-dealing. In such a case, trust beneficiaries may obtain an order setting aside the transaction or seek damages based on the difference between the purchased assets’ fair market value at the time of purchase and the sales price paid by the trustee.

A trustee owes a fiduciary duty of loyalty to a trust; self-dealing, such as a purchase of trust assets by the trustee in his individual capacity, violates this obligation. RESTATEMENT (SECOND) OF TRUSTS § 170(1) (1959); UNIF. TRUST CODE § 802. Under the “no further inquiry” rule, there is no need to inquire into the motivation for the self-dealing transaction or even its fairness. *See* MCGOVERN, KURTZ & ENGLISH, PRINCIPLES OF WILLS, TRUSTS, AND ESTATES (2d. ed. 2012) at 560.

Any trust beneficiary can cause a self-dealing purchase by a trustee to be set aside or obtain a damages award. *See* UNIF. TRUST CODE § 802. If a beneficiary elects to set aside the transaction, the trust property purchased by the trustee is returned to the trust and the amount the trustee paid for the property is refunded by the trust. If a beneficiary seeks damages, those damages are based on the difference in the fair market value of the trust assets at the time of the self-dealing transaction and the amount paid by the trustee. *Id.* Where, as here, the assets purchased by the trustee have declined in value since the self-dealing transaction, trust beneficiaries are likely to seek damages instead of setting aside the transaction.

Here, the beneficiaries should elect to seek damages from the trustee, not rescission. First, with rescission, the trustee would return the shares to the trust, and the trust would have to refund the purchase price to the trustee. This would leave the trust with assets worth only \$450,000. Furthermore, because of the market declines, the trust assets are currently worth only \$1,000,000; thus the trust doesn’t have sufficient assets to refund the purchase price. On the other hand, by seeking damages, the trust would collect \$300,000, representing the difference between the value of the shares when purchased by the trustee (\$1,500,000) and the purchase price (\$1,200,000), leaving the trust with \$1,300,000 in assets.

The trustee also breached his duty of care when selling the stock because of his failure to test the market.

Point Three (35%)

A trustee has a duty to invest trust assets in a prudent manner. Here, there are no facts suggesting that the trustee breached any prudent investment duty with respect to the selection and management of the investments he made.

A trustee shall administer “the trust as a prudent person would . . . [using] reasonable care, skill, and caution.” *See* UNIF. TRUST CODE § 804. *See also* UNIF. PRUDENT INVESTOR ACT § 2(a) (1995); RESTATEMENT (THIRD) OF TRUSTS: PRUDENT INVESTOR RULE § 227 (1992); RESTATEMENT (THIRD) OF TRUSTS § 90 (2007). One of the hallmarks of prudent investing is diversification. A balanced portfolio reduces aggregate risk by investing in different investment categories. Diversification thus is strong evidence of prudent investing. Indeed, failure to diversify is likely the reason why the trustee in this case was advised to sell the closely held corporate stock. *See* MCGOVERN, KURTZ & ENGLISH, *supra*, at 575–77.

“A trustee’s investment and management decisions respecting individual assets must be evaluated not in isolation but in the context of the trust portfolio as a whole and as a part of an overall investment strategy having risk and return objectives reasonably suited to the trust.” UNIF. PRUDENT INVESTOR ACT § 2(b); *accord*, RESTATEMENT (THIRD) OF TRUSTS: PRUDENT INVESTOR RULE § 227(a). The trustee should consider the purposes, terms, distribution requirements, and other circumstances affecting the trust. UNIF. PRUDENT INVESTOR ACT § 2(a). The prudent investor rule applies to both investment and management decisions. Management includes monitoring; thus, the trustee has a duty to monitor investments prudently made to assure that retention of those investments remains prudent. If retention is not prudent, the trustee should sell the imprudent investments and reinvest the proceeds in prudent investments. A trustee, however, is not liable for declines in value due to a downturn resulting from general economic conditions. *See generally*, UNIF. PRUDENT INVESTOR ACT § 2, cmt.

Here, the trustee’s investment of the sale proceeds seems to satisfy the diversification requirement. The trustee selected a balanced group of mutual funds; the portfolio included both stock and bond funds; it contained both growth and income funds. The trustee also appears to have considered the needs of both the income beneficiary and remainderman; growth funds are aimed at achieving principal appreciation and income funds at producing current income. The funds’ decline in value during a period of general economic decline—when most types of investments may well have fallen in value—does not evidence lack of prudence, and there are no facts to show any failure to monitor the portfolio.

February 2016
MEE Questions
and Analyses

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the February 2016 MEE. (In the actual test, the questions are simply numbered rather than being identified by area of law.) The instructions for the test appear on page iii.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, identified by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Constitutional Law question on the February 2016 MEE tested the following areas from the Constitutional Law outline: II.A.1. The separation of powers—The powers of Congress—Commerce, taxing, and spending powers.

For more information about the MEE, including subject matter outlines, visit the NCBE website at www.ncbex.org.

Description of the MEE

The MEE consists of six 30-minute questions and is a component of the Uniform Bar Examination (UBE). It is administered by user jurisdictions as part of the bar examination on the Tuesday before the last Wednesday in February and July of each year. Areas of law that may be covered on the MEE include the following: Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Civil Procedure, Conflict of Laws, Constitutional Law, Contracts, Criminal Law and Procedure, Evidence, Family Law, Real Property, Secured Transactions (UCC Article 9), Torts, and Trusts and Estates (Decedents' Estates; Trusts and Future Interests). Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusions. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Answer all questions according to generally accepted fundamental legal principles unless your testing jurisdiction has instructed you to answer according to local case or statutory law.

NOTE: Examinees testing in UBE jurisdictions must answer according to generally accepted fundamental legal principles rather than local case or statutory law.

February 2016 MEE Questions

Secured Transactions

Evidence

Agency & Partnership

Constitutional Law

Decedents' Estates

Family Law

SECURED TRANSACTIONS QUESTION

Two years ago, a retailer of home electronic equipment borrowed \$5 million from a finance company. The loan agreement, signed by both parties, provided that the retailer granted the finance company a security interest in all of the retailer's present and future inventory to secure the retailer's obligation to repay the loan. On the same day that it made the loan, the finance company filed in the appropriate state filing office a properly completed financing statement reflecting this transaction.

Six months ago, a buyer purchased a home entertainment system from the retailer for a total price of \$7,000. The buyer paid \$1,000 as a down payment on the system and agreed to make 12 additional monthly payments of \$500 each. The buyer signed a "credit purchase agreement" memorializing the financial arrangement with the retailer and providing that the retailer would "retain title" to the entertainment system until the buyer's obligation to the retailer was paid in full. The buyer then returned home with her new home entertainment system. The buyer had no knowledge of the retailer's agreement with the finance company and acted in good faith in acquiring the home entertainment system. The retailer did not file a financing statement with respect to this transaction.

Two months ago, the buyer decided that she could no longer afford her monthly \$500 payments for the home entertainment system. She contacted her friend, who had often expressed interest in acquiring a home entertainment system. After a brief discussion, the friend agreed to buy the home entertainment system from the buyer for \$4,000 if the friend could pay the price 90 days later, when he anticipated receiving a bonus at work. The buyer accepted the friend's proposal, and the friend gave the buyer a check for \$4,000. The buyer promised to hold the \$4,000 check for 90 days before depositing it. The friend took the entertainment system and began using it at his own home. The friend had no knowledge of the buyer's agreement with the retailer or of the retailer's agreement with the finance company.

The retailer is in financial distress and has missed a payment owed to the finance company. Meanwhile, since the friend bought the home entertainment system from the buyer, the buyer has not made any of her monthly payments to the retailer.

1. Does the finance company have an interest in the home entertainment system? Explain.
2. Does the retailer have an interest in the home entertainment system? Explain.
3. Does the retailer have an interest in the \$4,000 check? Explain.

EVIDENCE QUESTION

A victim had just walked out of a jewelry store carrying a package containing a diamond bracelet when someone grabbed him from behind, put a gun to his back, and demanded the package. The victim handed the package over his shoulder to the robber. The robber said, "Close your eyes and count to 20. I'll be watching, and if you mess up, I'll shoot you." The victim did as he was told, and when he opened his eyes, the robber was gone. The victim immediately called 911 on his cell phone.

The victim did not see the robber. A witness on the other side of the street saw the entire encounter. While the victim was speaking to the 911 operator, the witness ran over to the victim and shouted, "Are you all right? I saw it all!"

A police officer arrived five minutes later and took a statement from the witness, who was wringing her hands and pacing. The police officer asked the witness, "What did you see?" The witness responded, "The robber is about six feet tall. He has brownish hair, almost buzzed to the scalp. He was wearing jeans and a blue jacket." The police officer called in the description to the police station.

The defendant, who is over six feet tall and has buzzed brown hair, was picked up 30 minutes later. When the police officer stopped him, he was six blocks from the scene of the robbery. The defendant was wearing jeans and a blue jacket but did not have a gun or the bracelet in his possession. He was brought to the police station for questioning and was placed in a lineup.

The police officer brought the witness to the police station to view the lineup. The witness viewed the lineup and identified the defendant as the robber. The defendant was arrested and charged with robbery.

One week after the robbery, the witness moved overseas. One year later, at the time of the defendant's trial, the witness could not be found.

The victim and the police officer both testified at trial for the prosecution. The police officer testified as follows:

Question: When you arrived at the scene of the robbery, did you obtain a description of the robber?

Answer: Yes. The witness said that the robber was about six feet tall, with very short, brownish hair, almost buzzed to the scalp, and that he was wearing jeans and a blue jacket.

Question: Did you gather any other evidence indicating that the defendant committed this robbery?

Answer: Yes. When I was walking into the police station with the victim, we overheard the defendant in an adjoining room. As soon as the victim heard the defendant's voice, the victim said, "That's the voice of the guy who robbed me."

Question: What do you know about the defendant?

Answer: He's a known drug dealer who had been hanging around in the area where the jewelry store is located for six months before the robbery, constantly causing trouble.

The trial was held in a jurisdiction that has rules identical to the Federal Rules of Evidence. Defense counsel made timely objections to the admission of the following evidence:

- (a) The police officer's testimony recounting the witness's statement at the scene.
- (b) The police officer's testimony recounting the victim's statement while walking into the police station.
- (c) The police officer's testimony that the defendant is a "known drug dealer who had been hanging around in the area where the jewelry store is located for six months before the robbery, constantly causing trouble."

The trial judge overruled all of defense counsel's objections.

Was this evidence properly admitted? Explain.

AGENCY & PARTNERSHIP QUESTION

Four years ago, a man and a woman properly formed a partnership to own and manage a multi-million-dollar apartment complex. They qualified the partnership as a limited liability partnership (LLP). The complex required a good deal of maintenance, and they anticipated regular borrowings of up to \$25,000 to cover maintenance expenses as is customary in this industry.

While the partnership agreement contained no limitations on the authority of the partners to act for LLP, two months after LLP was formed the man and the woman agreed that neither partner would have authority to incur indebtedness on behalf of LLP in excess of \$10,000 without the consent of the other partner. They then signed a statement of partnership authority describing this limitation, but this statement was never filed.

Over the next two years, the man regularly borrowed amounts from LLP's bank to cover the complex's ordinary maintenance expenses. The amounts borrowed ranged from \$5,000 to \$9,000, and the man did not ask for the woman's consent when he entered into these loans on behalf of LLP.

Earlier this year, the man, without the woman's knowledge, asked the bank to loan \$25,000 to LLP. The man told the bank's loan officer that the funds would be used for ordinary maintenance of the apartment complex. This amount, though greater than LLP's previous borrowings from the bank for maintenance, was in line with loans made by the bank for maintenance to other similar apartment complexes.

When the loan officer asked the man if he had authority to borrow the money on behalf of LLP, the man handed the loan officer a copy of the partnership agreement. The man, however, did not give the officer a copy of the statement of partnership authority, nor did he tell the loan officer that it existed. The bank had no actual knowledge of the limitation on the man's authority to obtain the loan on behalf of LLP.

Without contacting the woman, the bank loaned \$25,000 to LLP. The loan agreement was signed only by the man and the bank's loan officer. The woman, though she had knowledge of the earlier borrowings from the bank, had no knowledge of this loan.

The man then used the \$25,000 to pay his personal gambling debts. LLP has not made any payments to the bank on the loan.

1. Is LLP liable to the bank on the loan? Explain.
2. Is the woman personally liable to the bank on the loan? Explain.
3. Is the man liable for breaching his fiduciary duties and, if so, to whom is he liable? Explain.

CONSTITUTIONAL LAW QUESTION

State A, a leader in wind energy, recently enacted the “Green Energy Act” (“the Act”).

Section 1 of the Act requires that 50% of the electricity sold by utilities in the state come from “environmentally friendly energy sources.” Wind energy, which is produced in State A, is classified by the Act as an “environmentally friendly energy source.” Natural gas, which is not produced in State A, is not classified by the Act as environmentally friendly. The preamble of the Act contains express findings that the burning of natural gas releases significant quantities of greenhouse gases into the atmosphere and requires the diversion of scarce water resources for use in gas-burning thermoelectric plants.

Section 2 of the Act prohibits the Public Service Commission of State A from approving any new coal-burning power plants in the state, unless it finds that “the construction of the plant is necessary to meet urgent energy needs of this state.” A public utility in neighboring State B has applied for a permit to build a coal-burning power plant on property it owns across the border in State A. The Commission has denied the utility’s application based on its finding that there is no evidence of any urgent energy needs in State A. The State B utility presented undisputed evidence of severe energy shortages in State B, but the Commission rejected this evidence as irrelevant to the statutory exception.

Section 3 of the Act requires State A, whenever possible, to buy goods and services only from “environmentally friendly vendors located within the state.” To qualify as an “environmentally friendly vendor,” a firm must meet specified standards concerning energy efficiency, chemical use, and use of recycled materials. A vendor located outside of State A meets all the standards to qualify as an environmentally friendly vendor. The vendor has sought to sell goods and services to State A. The relevant State A agencies have refused to purchase from this vendor, pointing out that the Act requires them to purchase, if possible, only from “environmentally friendly vendors located within the state,” of which there are several.

There is no federal statute or regulation relevant to this problem.

Which provisions, if any, of the Green Energy Act unconstitutionally burden or discriminate against interstate commerce? Explain.

DECEDENTS' ESTATES QUESTION

Last year, a patient, age 80, was diagnosed with cancer. Shortly after receiving the cancer diagnosis, the patient signed a durable health-care power of attorney (POA) designating her son as her “agent to make all health-care decisions on my behalf when I lack capacity to make them myself.” The POA contained no other provisions relevant to the commencement or duration of the agent’s authority. The patient thereafter underwent several cancer therapies which were so successful that, two months ago, the patient’s doctor said that, in his opinion, the patient’s cancer was in “complete remission.”

Last week, the patient was struck by an automobile, suffered serious injuries to her head and neck, and underwent emergency surgery for those injuries. Following surgery, the patient’s doctor explained to her son that there was a more than 50% risk that the patient would not regain consciousness and would need to be maintained on life-support systems to provide her with food, hydration, and respiration. The doctor also noted that, during the next few days, there was a large risk of a stroke or cardiac arrest, which would substantially increase the risk that the patient would never regain consciousness, and which could be fatal.

The patient’s son was confident that his mother would not want to be kept on life support if she were permanently unconscious but believed that she would want to be maintained on life support until her status was clear. He thus instructed the doctor to put the patient on life support but not to resuscitate her if she were to experience a stroke or cardiac arrest. The son issued these instructions after conferring with the doctor and with his two sisters. The sisters disagreed with their brother’s decision and told the doctor to ignore the instructions “because we have as much right to say what happens to Mom as he does, and we want her resuscitated in all events.” Nonetheless, the doctor thereafter placed a “do not resuscitate” (DNR) order in the patient’s chart.

Four days ago, the patient, who had not regained consciousness, suffered a cardiac arrest. Following the DNR order, the nursing staff did not attempt to resuscitate the patient, and she died.

The patient’s valid will devised her estate to her three children in equal shares. All three children survived the patient.

This jurisdiction has a typical statute authorizing durable health-care powers of attorney. This jurisdiction also has a statute providing that “[n]o person shall share in the estate of a decedent when he or she intentionally caused the decedent’s death.”

The patient’s two daughters have consulted an attorney, who has advised them that (1) the patient’s son had no authority to instruct the doctor to write the DNR order; (2) in a wrongful death action, the son would be liable for the patient’s death; and (3) the son is barred from taking under the patient’s will because his actions intentionally caused her death.

Is the attorney correct? Explain.

FAMILY LAW QUESTION

Eight years ago, a woman and a man began living together. The woman worked as an investment banker, and the man worked part-time as a bartender while he struggled to write his first novel. The couple lived in a condominium that the woman had purchased shortly before the man moved in. The woman had purchased the condominium for \$300,000 using her own money and had taken title in her own name.

Four years ago, the woman and the man were married at City Hall. One week before the wedding, the woman presented the man with a proposed premarital agreement and an asset list. The asset list correctly stated that the woman owned the condominium, then worth \$350,000, and a brokerage account, then worth \$500,000. The agreement specified that, in the event of divorce, each spouse would be entitled to retain “all assets which he or she then owns, whether or not those assets are acquired during the marriage.” The man was surprised when the woman gave him the agreement to sign, and he contacted a lawyer friend for advice. The lawyer urged the man not to sign the agreement. Nonetheless, the man signed the agreement, telling the woman, “I’m a little hurt, but I guess I understand that you want to keep what you earn.” The woman signed the agreement as well.

After their wedding, the woman and the man continued to live in the woman’s condominium and to work at the jobs each held before the marriage. The man also continued to work on his novel.

Six months ago, the man’s novel was accepted by a publisher. The novel will be released next spring. The publisher has estimated that the royalties may total as much as \$200,000 over the next five years.

Two months ago, the woman and the man separated. The woman remained in the condominium, now worth \$400,000 as a result of market appreciation. The woman’s brokerage account, worth \$500,000 when she and the man married, is now worth \$1,000,000 as a result of market appreciation and additional investments that the woman made with employment bonuses she received during the marriage. The woman has made no withdrawals from this account.

One month ago, the woman won, but has not yet received, a \$5 million lottery jackpot.

One week ago, the man filed for divorce. In the man’s divorce petition, he asks the court to invalidate the premarital agreement and seeks half of all assets owned by the woman, i.e., the woman’s brokerage account, her condominium, and her right to the lottery payment. The man owns no assets except for personal effects and the book contract under which he will receive future royalties based on sales of his novel.

This jurisdiction has adopted the Uniform Premarital Agreement Act, which in relevant part provides that “the party against whom enforcement [of the premarital agreement] is sought must prove (1) involuntariness or (2) *both* that ‘the agreement was unconscionable when it was executed’ *and* that he or she did not receive or waive a ‘fair and reasonable’ disclosure and ‘did not have or reasonably could not have had . . . an adequate knowledge’ of the other’s assets and obligations.”

Family Law Question

The jurisdiction's divorce law requires "equitable distribution" of all marital (community) assets and prohibits the division of separate assets.

1. Is the premarital agreement enforceable? Explain.
2. Assuming that the agreement is unenforceable, what assets are subject to division in the divorce action, and what factors should a court consider in distributing those assets? Explain.

February 2016 MEE Analyses

Secured Transactions

Evidence

Agency & Partnership

Constitutional Law

Decedents' Estates

Family Law

SECURED TRANSACTIONS ANALYSIS

Secured Transactions I.B.; II.D., E.; III.B.; IV.A., B., C.

ANALYSIS

Legal Problems:

- (1) Does a security interest in a store's inventory survive sale of an item of that inventory to a buyer who acquires the item in good faith in an ordinary-course transaction?
- (2) What are the rights of a seller of goods who "sells" those goods on credit to a consumer but purports to retain title to the goods until the full purchase price is paid? Do the seller's rights survive a resale of those goods by the buyer to another consumer?
- (3) Does a secured party obtain an interest in the proceeds of a debtor's sale of the secured party's collateral?

DISCUSSION

Summary

The finance company had a perfected security interest in the home entertainment system when it was owned by the retailer. The buyer acquired the home entertainment system from the retailer free of that security interest because the buyer was a buyer in ordinary course of business. Because the buyer owned the home entertainment system free of the security interest, the buyer sold it to her friend free of the finance company's interest.

The retailer had a perfected security interest in the home entertainment system while it was owned by the buyer. The friend acquired the home entertainment system from the buyer free of that security interest because both the buyer and the friend used the home entertainment system for personal purposes, the friend acquired it without knowledge of the retailer's security interest, and the retailer had not filed a financing statement with respect to its security interest.

Because the retailer had a security interest in the home entertainment system when it was owned by the buyer, the retailer obtained a security interest in the \$4,000 check as proceeds of the home entertainment system. The retailer's security interest in the check was perfected because its security interest in the home entertainment system had been perfected and the check constituted "cash proceeds."

Point One (40%)

The buyer obtained the home entertainment system free of the finance company's perfected security interest because the buyer was a buyer in ordinary course of business. Because the buyer owned the home entertainment system free of the security interest, the buyer's sale to the friend was free of that interest.

The finance company had an enforceable, attached security interest in all of the retailer's inventory, including the home entertainment system later sold to the buyer. All three elements of enforceability and attachment under UCC § 9-203 were satisfied: value was given (the loan),

the debtor (the retailer) had rights in the inventory, and the debtor (the retailer) authenticated a security agreement containing a description of the collateral. *See* UCC §§ 9-203(b), 9-203(a), and 9-108. Moreover, the finance company's security interest was perfected by the filing of the financing statement. *See* UCC §§ 9-308, 9-310.

As a general rule, a security interest continues notwithstanding the sale of collateral. UCC § 9-315(a)(1). But this general rule is subject to several exceptions. In particular, a "buyer in ordinary course of business" (BIOCOB) takes free of a security interest created by its seller even if the security interest was perfected. UCC § 9-320(a). Under these facts, the buyer was a BIOCOB. She appears to have bought the home entertainment system in good faith and in the ordinary course from a person in the business of selling goods of the kind (the retailer) without knowledge that the sale to her violated the rights of a third party. UCC § 1-201(b)(9). Because the buyer was a BIOCOB, she acquired the home entertainment system free of the finance company's security interest.

Under the "shelter principle," once the buyer acquired the home entertainment system free of the finance company's security interest, any subsequent transfer of the system by the buyer to someone else was also free of the finance company's security interest. Accordingly, when the friend acquired the home entertainment system from the buyer, it was free of the finance company's security interest. *See* FREDERICK MILLER, CARL BJERRE, AND NEIL COHEN, 9B HAWKLAND UCC SERIES § 9-320:2 [Rev.]. *See also* PEB Commentary No. 6, Section 9- 301(1) (March 10, 1990); UCC § 2-403(1).

Point Two (40%)

The retailer's retention of title to the home entertainment system in the credit sale to the buyer was a security interest in the system. While the security interest was automatically perfected, the friend acquired the system free of the retailer's security interest.

While the agreement between the retailer and the buyer indicated that the retailer was retaining title to the home entertainment system, the substance-over-form rules of secured transactions law indicate that the retailer's interest was not ownership but, rather, a security interest. *See* UCC § 1-201(b)(35) [1-201(37) in Missouri, which has not yet enacted revised Article 1 of the UCC]; *see also* UCC § 9-109(a)(1) (Article 9 governs any transaction *regardless of form* that creates a security interest in personal property by contract). All the elements of attachment and enforceability of this security interest were satisfied. (*See* UCC § 9-203 and the analysis in Point One above.)

The retailer's security interest was perfected even though the retailer did not file a financing statement. This is because the retailer's security interest was a "purchase-money security interest" in "consumer goods." The security interest was a purchase-money security interest because it was retained by the seller to secure payment of the remainder of the sales price. *See* UCC § 9-103. The home entertainment system constituted "consumer goods" because it was used primarily for personal, family, or household purposes. *See* UCC § 9-102(a)(23). A

purchase-money security interest in consumer goods perfects upon attachment without the filing of a financing statement. UCC § 9-309(1). Therefore, the retailer's security interest in the home entertainment system was a perfected security interest while the system was owned by the buyer.

As a general rule, a security interest continues notwithstanding the sale of collateral. UCC § 9-315(a)(1). Thus, under this general rule, the retailer's security interest in the home entertainment system would continue after the buyer's sale of the system to the friend. But this general rule is subject to several exceptions. In this case, the friend acquired the system free of the retailer's security interest under the consumer-to-consumer exception in UCC § 9-320(b) because the home entertainment system was used for personal, family, or household purposes of the buyer before the sale and of the friend after the sale, and the friend acquired the system for value, without knowledge of the retailer's security interest, and before a financing statement was filed with respect to that security interest. (As noted above, the retailer was not required to file a financing statement to perfect its security interest because it was a purchase-money security interest in consumer goods.)

Point Three (20%)

Because the retailer had a perfected security interest in the home entertainment system at the time of its sale to the friend, the retailer obtained a security interest in the \$4,000 check as proceeds from the sale of the system; the security interest in the check was perfected for 20 days and remained perfected thereafter because the check constituted "cash proceeds."

The check constituted "proceeds" of the home entertainment system because that term includes, inter alia, whatever is obtained on the sale of collateral. UCC § 9-102(a)(64)(A). When collateral is disposed of, a secured party automatically obtains a security interest in identifiable proceeds of the collateral. UCC § 9-315(a)(2). Accordingly, when the home entertainment system was sold by the buyer to the friend, and the buyer received the check in return, the check constituted proceeds of the home entertainment system and the retailer (which had a security interest in the system) thereby obtained a security interest in the check. Because the retailer's security interest in the system had been perfected, its security interest in the check as proceeds was perfected as well. UCC § 9-315(c). That perfection ceases after 20 days, however, unless one of three criteria in UCC § 9-315(d) is satisfied. In this case, UCC § 9-315(d)(2) was satisfied because the check was "cash proceeds." See UCC § 9-102(a)(9). Thus, the retailer's security interest in the check was continuously perfected after the sale of the system to the friend.

EVIDENCE ANALYSIS

Evidence II.C.1.; V.A.1., B.

ANALYSIS

Legal Problems:

- (1)(a) Is a witness's out-of-court description of a robber provided to the police just minutes after viewing the robbery inadmissible hearsay?
- (1)(b) Does admission of a nontestifying witness's out-of-court statement, provided in response to police questioning just minutes after viewing the crime, violate the Confrontation Clause of the Sixth Amendment?
- (2) Is an out-of-court vocal identification of a defendant inadmissible hearsay?
- (3) Can the prosecutor introduce testimony that a criminal defendant was a known drug dealer who had been hanging around for six months constantly causing trouble?

DISCUSSION

Summary

The witness's out-of-court description of the robber is hearsay. However, the statement fits either the hearsay exception for present sense impressions or the exception for excited utterances.

Even if the statement falls within a hearsay exception, its admission may have violated the Confrontation Clause of the Sixth Amendment to the U.S. Constitution. The witness was unavailable to testify at trial, and the defendant had no opportunity to cross-examine the witness. Whether admission of this out-of-court statement violated the Confrontation Clause depends on whether the statement was testimonial. If the objective primary purpose of the witness's interrogation was to help the police to resolve an ongoing emergency—the need to apprehend an armed and dangerous robber—the witness's statement was nontestimonial and the admission of the statement did not violate the Confrontation Clause. However, if the objective primary purpose of the witness's interrogation was to help the police investigation or if the witness reasonably believed that her statement would be used at trial, her statement was testimonial and its admission violated the Confrontation Clause. A reasonable argument on this point could be made either way.

Because the victim testified at trial and could have been cross-examined, the officer's testimony that the victim had stated "That's the voice of the guy who robbed me" was admissible as a statement of vocal identification made after perceiving (hearing) the defendant.

The officer's testimony that the defendant is a "known drug dealer who had been hanging around in the area where the jewelry store is located for six months before the robbery, constantly causing trouble" was inadmissible character evidence. This evidence could not be admitted to prove that the defendant acted in conformity with his character as a drug dealer or criminal. The evidence also could not be admitted to prove other crimes, wrongs, or acts because it was too vague and served no relevant non-propensity purpose.

Point One(a) (35%)

The witness's description of the robber is hearsay. The police officer's testimony repeating that out-of-court statement was properly admitted because the statement was a present sense impression or an excited utterance.

The witness's description of the robber is an out-of-court statement. This statement was offered at trial to prove the truth of the matter asserted in the statement—that the person who perpetrated the crime matched the witness's description. Thus, the witness's statement is inadmissible hearsay, unless it falls within a hearsay exception. *See* FED. R. EVID. 801(c).

The witness's out-of-court statement falls within two hearsay exceptions. FED. R. EVID. 803(1) and 803(2). Both exceptions apply regardless of whether the witness (the declarant) is available to testify at trial.

First, the witness's description is admissible as a "present sense impression." Rule 803(1) permits the use of a hearsay statement "describing or explaining an event or condition made while the declarant was perceiving the event or condition or immediately thereafter." Here, the witness saw the robbery, ran across the street to the victim, and provided a description of the robber to the police officer a few minutes later. "A few minutes' pause . . . is within the period contemplated in Rule 803(1)." *United States v. Obayagbona*, 627 F. Supp. 329, 340 (E.D.N.Y. 1985).

Second, the witness's description of the robber is admissible as an "excited utterance." *See* FED. R. EVID. 803(2). The witness's description is a statement "relating to a startling event or condition made while the declarant was under the stress of excitement that it caused." *Id.* Here, the witness had just seen an armed robbery, which is certainly a startling event for victims and spectators. *See, e.g., Cole v. Tansy*, 926 F.2d 955 (10th Cir. 1991). The witness's description of the robber related to the startling event of the robbery. Moreover, the fact that the witness was wringing her hands and pacing up and down while she made the statement indicates that she was still "under the stress of excitement" of the event. *See id.* at 958. Finally, although the witness's description was made in response to the police officer's question, this normally has no impact on the operation of the excited utterance exception unless the police questioning was suggestive. *See United States v. Phelps*, 168 F.3d 1048, 1055 (8th Cir. 1999).

[NOTE: Rule 801(d)(1)(c) does not apply here because under this rule the declarant must testify and be subject to cross-examination. *See* Point Two.]

Point One(b) (20%)

Whether admission of the police officer's testimony repeating the witness's description of the robber violated the Confrontation Clause depends on whether the objective primary purpose of the interrogation was to assist the police to resolve an ongoing emergency or to assist in the investigation and prosecution of the crime. Here, the facts support reasonable arguments either way.

The Sixth Amendment of the Constitution gives defendants the right to confront witnesses against them. The use of an out-of-court statement by the prosecutor violates a defendant's Sixth Amendment rights, even if the statement falls within a hearsay exception, if (1) the statement was "testimonial," (2) the witness who made the statement is unavailable to testify at trial, and (3) the defendant has not had an opportunity to cross-examine the witness before trial. *See Crawford v. Washington*, 541 U.S. 36 (2004); JACK B. WEINSTEIN & MARGARET A. BERGER, 5 WEINSTEIN'S FEDERAL EVIDENCE 804.06[5][a] (2d ed. 1997).

In *Crawford*, the Supreme Court noted that statements made to police officers in the course of an interrogation are often testimonial. *See id.* at 52–53 ("interrogations by law enforcement officers fall squarely into that class [of testimonial statements]"). The *Crawford* Court also suggested that statements that a witness reasonably believed would be used as part of a criminal prosecution are testimonial. *See id.* at 51–52 (testimonial statements are "made under circumstances that would lead an objective witness reasonably to believe that the statement would be available for use at a later trial").

Two years later, in *Davis v. Washington*, 547 U.S. 813 (2006), the Court drew a distinction between (1) statements made to the police to assist in the investigation and prosecution, which should be considered testimonial; and (2) statements made to the police to enable them to meet an ongoing emergency, which should be considered nontestimonial. Thus, after *Davis*, statements to the police "under circumstances objectively indicating that the primary purpose of the interrogation is to enable police assistance to meet an ongoing emergency" are nontestimonial. *See id.* at 822.

In *Michigan v. Bryant*, 562 U.S. 344 (2011), the Court elaborated on its objective "primary purpose of the interrogation" standard, noting that it requires "a combined inquiry that accounts for both the declarant and the interrogator." *Id.* at 367. The *Bryant* Court also set forth a range of factors that might be used to determine the existence of an "ongoing emergency." These include

- (1) the nature of the dispute,
- (2) the scope of the potential harm to the victim,
- (3) the threat to additional identifiable victims,
- (4) the existence of a more generalized threat to the public,
- (5) the suspect's choice of weapon, and
- (6) whether the suspect remained "at large" or had been located (but not yet apprehended) by the police and/or any other "first responders."

See id. at 362–78. Finally, in *Ohio v. Clark*, 135 S.Ct. 2173 (2015), the Court reiterated that "the question is whether, in light of all the circumstances, viewed objectively, the 'primary purpose' of the conversation was to 'creat[e] an out-of-court substitute for trial testimony.'" *Id.* at 2180 (quoting *Michigan v. Bryant*, 562 U.S. at 392).

Here, the witness's out-of-court statement to the police officer could be viewed as nontestimonial because it was made under emergency circumstances. A robbery had recently occurred, the dispute was not private, the suspect was apparently armed, he may have posed a threat to other victims and/or the general public, and he was still "at large." Under these circumstances, the "primary purpose of the interrogation," from the perspective of the reasonable declarant and the interrogator, could have been to assist the police to resolve an ongoing emergency. If the statement is deemed nontestimonial, its admission would not violate the Confrontation Clause.

On the other hand, there are facts that suggest that the witness's statement was testimonial. The witness provided the robber's identity in response to police questioning about a crime, the robber was no longer present at the scene, and there was no clear ongoing emergency insofar as the witness was concerned. Based on these facts, the judge could conclude that the objective "primary purpose of the interrogation" was to assist in the investigation and prosecution of the robbery. Because the witness was not available to testify and the defendant had no prior opportunity to cross-examine the witness, if the statement were deemed testimonial, its admission would violate the Confrontation Clause.

The facts support reasonable arguments either way on this issue.

Point Two (20%)

The victim's statement "That's the voice of the guy who robbed me" is admissible as an out-of-court statement of identification.

The victim's statement, "That's the voice of the guy who robbed me," is an out-of-court statement offered for the truth of the matter asserted. Nonetheless, "[a] statement . . . is not hearsay [when] [t]he declarant testifies and is subject to cross-examination about a prior statement, and the statement . . . identifies a person as someone the declarant perceived earlier." FED. R. EVID. 801(d)(1)(C). Most courts have found that statements identifying a person after hearing the person's voice qualify as statements of identification under Rule 801(d)(1)(C). *See United States v. Ramirez*, 45 F.3d 1096, 1101 n.1 (7th Cir. 1995). Lay witness voice identification based on prior familiarity with a voice is typically admissible unless it has been tainted by impermissibly suggestive questioning or investigative procedures. *See United States v. Garcia-Alvarez*, 541 F.3d 8 (1st Cir. 2008). Expert testimony is not normally required.

Here, because the victim testified at trial and could have been recalled and cross-examined concerning his out-of-court statement, the statement was correctly admitted under Rule 801(d)(1)(C) as a statement of identification.

The victim's statement is not hearsay under the rules, so it need not fit any of the hearsay exceptions to be admissible. However, credit could be given to examinees who conclude that the victim's statement falls within the hearsay exception for an excited utterance or a present sense impression. *See Point One*. The victim's statement was arguably an excited utterance because it was made in response to an event (the victim hearing the defendant's voice) that was evidently "startling" to the victim, it occurred close in time to the event, and the victim was "under the stress" of the excitement of the event when making the statement. FED. R. EVID. 803(2).

Similarly, the victim's statement was a present sense impression: it "describ[ed] . . . an event" (hearing "the voice of the guy who robbed me") and was made immediately after the event. FED. R. EVID. 803(1).

Point Three (25%)

The police officer's testimony that the defendant was a "known drug dealer who had been hanging around in the area where the jewelry store is located for six months before the robbery, constantly causing trouble" is inadmissible character evidence.

In relevant part, Federal Rule of Evidence 404(a)(1) provides that "[e]vidence of a person's character or a character trait is not admissible to prove that on a particular occasion the person acted in accordance with the character or trait." Here, the only apparent purpose of the police officer's testimony is to impugn the defendant's character and suggest that he is the sort of person who would commit a robbery.

The testimony is not admissible under Federal Rule of Evidence 404(b)(2), which provides that evidence of crimes, wrongs, or other acts "may be admissible for another [non-propensity] purpose, such as proving motive, opportunity, intent, preparation, plan, knowledge, identity, absence of mistake, or lack of accident." It is unlikely that the police officer's vague reference to the defendant's "constantly causing trouble" would be considered evidence of other crimes, wrongs, or acts under Rule 404(b).

Even in the unlikely event that the judge concluded that a vague reference to causing trouble was evidence of other crimes, wrongs, or acts, this evidence does not support any relevant non-propensity issue. For example, some courts have allowed prosecutors to admit evidence of a defendant's drug habit to establish the motive for a crime (i.e., to prove that a defendant needed to acquire money to purchase more drugs), *see, e.g., United States v. Cody*, 498 F.3d 582, 590–91 (6th Cir. 2007). Here, there is no indication that the defendant had a drug habit or that his previous behavior provided a motive for this robbery.

AGENCY & PARTNERSHIP ANALYSIS

Agency and Partnership V.C.; VI.; VII.C., D.

ANALYSIS

Legal Problems:

- (1) Is LLP liable to the bank on the loan undertaken by a partner acting beyond his actual authority, but within the partnership's ordinary course of business?
- (2) Is the woman personally liable to the bank on the loan it made to LLP?
- (3)(a) Did the man breach his fiduciary duties by entering into an unauthorized transaction and appropriating partnership assets for his own use?
- (3)(b) If the man breached any fiduciary duties, does the woman and/or LLP have a claim against the man?

DISCUSSION

Summary

Although the man had no actual authority to enter into the loan with the bank, the man was acting within the partnership's ordinary course of business and thus had apparent authority to bind LLP on the loan. Thus, LLP is liable on the loan.

The woman is not liable to the bank on the loan because a partner in a limited liability partnership does not incur personal liability on partnership obligations solely by reason of being a partner. The woman did not engage in any misconduct that would warrant an exception to this rule of limited liability.

The man breached his fiduciary duties (duty of care and duty of loyalty) when he wrongfully incurred LLP debt and misappropriated the \$25,000 for his personal use. Either the woman or the partnership can maintain an action against the man to recover damages for losses resulting from the man's breach. The woman can also bring an accounting action to have the partnership recover damages for losses resulting from the man's breach of his duty of loyalty.

[NOTE: Because this is a limited liability partnership, the question is analyzed under the Revised Uniform Partnership Act, RUPA (1997, as revised 2013), not the prior act, Uniform Partnership Act, UPA (1914). RUPA has been adopted in the following MEE jurisdictions: Alabama, Arizona, Arkansas, Colorado, Connecticut, the District of Columbia, Hawaii, Idaho, Illinois, Iowa, Kansas, Kentucky, Mississippi, Montana, Nebraska, Nevada, New Mexico, North Dakota, Oregon, South Dakota, and West Virginia. The analysis would be substantially the same in states that continue to use UPA (1914) and have adopted additional provisions for limited liability partnerships.]

Point One (30%)

LLP is liable to the bank on the loan because the man, as a partner of LLP, had apparent authority.

Even if a partner lacks actual authority, a limited liability partnership can be bound by the acts of a partner, “including the execution of an instrument in the partnership name,” if the partner was “apparently carrying on in the ordinary course the partnership business or business of the kind carried on by the partnership” RUPA § 301(1). From the bank’s perspective, the man acting as a partner had apparent authority to incur the debt because borrowing \$25,000 to pay for ordinary maintenance expenses of a multi-million-dollar apartment complex was entirely consistent with LLP’s ordinary business. This is evident from the facts that the partners anticipated the need for such loans when they formed the LLP, the LLP had previously borrowed from the bank for such maintenance expenses, and the bank had previously made similar loans to other apartment complexes.

Apparent authority did not exist, however, if the bank had actual knowledge that the man lacked authority. Under the RUPA (1997), a third party is bound by a limitation of authority only if that party “knew or had notice that the partner lacked authority.” *See* RUPA § 301(1). Here, there are no facts suggesting that the bank had notice or knowledge of the limitation on authority. *See* RUPA § 103 (“knowledge” is generally limited to actual knowledge, and “notice of a fact” arises from “all the facts known to the person at the time in question”). The bank asked the man if he had authority and the man, in response, gave the bank a copy of the partnership agreement containing no limits on his authority. The man did not give the bank a copy of the statement of partnership authority evidencing the man’s lack of actual authority. Nor did the bank have knowledge of this statement, which was never filed.

[NOTE: If an examinee concludes that borrowing \$25,000 was not in the ordinary course of business, then the examinee must conclude that there was no apparent authority either.]

Point Two (30%)

The woman is not personally liable to the bank on its claim under the loan agreement.

As a partner in LLP, the woman has limited liability for any partnership debts and thus is not liable to the bank. RUPA provides that a partner in a limited liability partnership is not liable for partnership obligations “solely by reason of being or acting as a partner.” RUPA § 306(c). The loan obligation arises out of contract, and thus the woman would not be liable for it unless there were some basis for asserting liability against her other than her being a partner.

Partners can become liable, however, for partnership obligations based on their own personal misconduct. Here, there is no indication of fraudulent or inequitable conduct by the woman that would justify liability for personal misconduct or piercing the entity veil. *See* Comments to RUPA § 306(c), (d) (limited liability irrelevant to claim of partner’s own misconduct; doctrine of “piercing the corporate veil” applies in limited liability partnerships); *see also Red River Wings, Inc. v. Hoot, Inc.*, 751 N.W.2d 206 (N.D. 2008) (“Principles for piercing a corporate veil apply to limited liability partnerships”).

[NOTE: Under some statutes, though not RUPA, partners in a limited liability partnership may also become liable for “the negligence, wrongful acts or misconduct of any person under the partner’s direct supervision and control.” *See* ARIZ. REV. STAT. ANN. § 29-215(C) (Supp. 1994); *see also* CARTER G. BISHOP & DANIEL S. KLEINBERGER, LIMITED LIABILITY COMPANIES: TAX AND BUSINESS LAW ¶ 15.02[3][e][iii] (2015) (collecting limited liability partnership statutes that include supervisor liability). Under this type of statute, the bank may argue that the woman failed to supervise the man when he entered into the loan without authority. There is nothing, however, to suggest that the man warranted supervision or that the woman was negligent for not supervising the man. In a partnership, each partner is deemed to be the co-equal of the other partners, and no partner is under the control of the other partners. *See* RUPA § 401(h) (“Each partner has equal rights in the management and conduct of the partnership’s business”).]

Point Three(a) (20%)

By improperly obtaining the bank loan and then misappropriating the loan proceeds, the man breached his fiduciary duty of loyalty and his duty of care.

Under RUPA, a partner owes to the partnership and the other partners the duties of loyalty and care. RUPA § 409(a). Partners are liable for damages to the partnership and co-partners for breach of these duties. Claims for breach of duties by partners in a limited liability partnership are not subject to the rule of limited liability applicable to claims by outside parties. Here, the man’s conduct breached his fiduciary duty of loyalty, as well as his broader duty of care.

The fiduciary duty of loyalty includes the obligation to refrain from appropriating partnership assets for personal use. *See* RUPA § 404(b)(1) (partner’s duty of loyalty includes duty “to account to the partnership . . . for . . . any property, profit, or . . . benefit derived by the partner in the conduct . . . of the partnership business”). The man breached this duty by misappropriating the proceeds of the loan from the bank made to the partnership.

The duty of care, which is remediable in damages, includes a duty not to engage in intentional misconduct and knowing violations of law. *See* RUPA § 409(c) (partner’s duty of care includes “refraining from . . . intentional misconduct, or a knowing violation of law”). The man breached this duty by not mentioning or providing the loan officer with the statement of partnership authority, which limited his ability to borrow more than \$10,000 without the other partner’s consent.

[NOTE: RUPA, as revised in 2013, treats a partner’s duty of loyalty as a fiduciary duty, the breach of which gives rise to a full range of legal and equitable remedies. On the other hand, the revision does not refer to a partner’s duty of care as a fiduciary duty, because “the duty of care applies in many non-fiduciary situations.” *See* Comment to RUPA § 410(c) (describing label change as “merely semantics, no change in the law is intended”). Thus, an examinee who refers to the duty of care as a fiduciary duty in the context of this question should receive full credit.]

Point Three(b) (20%)

The woman (or the partnership) can bring a direct action against the man for breaching his duties of loyalty and care. The woman can also bring an accounting action seeking to have the man pay damages to the partnership for his loyalty breach.

The duties of loyalty and care run to both “the partnership and the other partners.” *See* RUPA § 409(a); *cf.* RUPA § 404 (1997). Thus, the partnership can maintain an action against a partner for violating his fiduciary duties to the partnership and thus causing harm to the partnership. RUPA § 410(a). In addition, a partner can maintain an action against another partner, with or without an accounting, to enforce the partner’s rights under the partnership act, including an action for violations of duties. RUPA § 410(b).

Here, the woman can bring a direct action seeking to have the man make her whole for any losses to her caused by his misconduct that breached his duties of loyalty and care. She can also bring an accounting action to have the man account to the partnership for the money he took from the partnership. Although the partnership could seek damages for these breaches as well, in this two-person partnership it is unlikely that the man would agree to have the partnership sue him.

[NOTE: Some examinees might conclude that the woman can bring a direct action only for the man’s care breach, and the woman would have to pursue an accounting action with respect to the loyalty breach. Although this seems to have been the approach of RUPA (1997), this approach was abandoned in the 2013 revisions to ensure that partners can bring direct claims to protect their interests. *See* Comments to RUPA §§ 409, 410(b). Finally, some examinees might point out that derivative actions are not permitted on behalf of a partnership. *See* Comment to RUPA § 310(b) (noting that “statutory language does not contemplate derivative actions”); *see also Adams v. Land Services, Inc.*, 194 P.3d 429 (Colo. Ct. App. 2008) (holding that UPA (1914) does not allow derivative actions). This analysis does not affect the conclusion that the woman can bring a direct action against the man for breaching his duties of loyalty and care, given that both of these duties run to both “the partnership and the other partners.” *See* RUPA § 409(a).]

CONSTITUTIONAL LAW ANALYSIS

Constitutional Law II.A.1.

ANALYSIS

Legal Problems:

- (1) May a state enact a law that has the effect of favoring an in-state industry at the expense of an out-of-state industry where there are environmental reasons to favor the in-state industry?
- (2) May a state deny an out-of-state utility a permit to construct a coal-burning power plant because the plant, although it meets urgent out-of-state energy needs, does not meet urgent energy needs of the permitting state?
- (3) May a state favor in-state vendors when purchasing goods and services?

DISCUSSION

Summary

Even when Congress has not acted, the Commerce Clause of the United States Constitution imposes by negative implication a limitation on state laws that discriminate against or unduly burden interstate commerce.

Section 1 of the Act probably passes constitutional muster under the Commerce Clause. It is not facially discriminatory because it applies equally to in-state and out-of-state utilities; and it does not impede the import or export of electricity. The law's incidental effect of favoring an in-state industry (wind) at the expense of an out-of-state industry (natural gas production) probably does not trigger strict scrutiny. Moreover, the burden on interstate commerce is not clearly excessive in light of the in-state benefits.

Section 2 of the Act, as applied, probably does not pass constitutional muster. A state law or administrative decision that explicitly discriminates against nonresidents violates the Commerce Clause unless it is narrowly tailored to meet a legitimate, nonprotectionist purpose. The legislative ban on new coal-burning power plants, with its limited exception when State A has urgent energy needs, is discriminatory because it blocks the export of coal-produced electricity to other states. Even if reducing pollution from coal-burning power plants is a legitimate, nonprotectionist purpose, the permit denial likely fails strict scrutiny because there are other, nondiscriminatory means to accomplish the purpose.

Section 3 of the Act should pass constitutional muster. The Commerce Clause does not limit state action when the state acts as a "market participant." Thus, State A may favor in-state vendors when purchasing goods and services.

Point One (40%)

Section 1 of the Act, which requires utilities to use environmentally friendly energy sources, is probably valid given that it is not facially discriminatory against out-of-state energy producers and its discriminatory impact is not in the market being regulated (generation of electricity), but instead affects another market (natural gas production). Further, the law appears to satisfy the *Pike* balancing test, given that its burdens on interstate commerce are not clearly excessive in light of the putative in-state benefits.

State laws that discriminate against out-of-state commerce in favor of in-state commerce—either on their face or in practical effect—are subject to strict scrutiny and thus a nearly per se rule of invalidity. Even if not discriminatory, state laws that affect interstate commerce can also be invalidated if the burden on interstate commerce is clearly excessive in relation to the putative in-state benefits. *Pike v. Bruce Church, Inc.*, 397 U.S. 137 (1970).

Section 1 is not facially discriminatory. Utilities may meet the requirement that 50% of their electricity come from environmentally friendly energy sources by acquiring electricity from out-of-state wind or other environmentally friendly energy sources; natural gas does not qualify as an environmentally friendly energy source regardless of where it is produced.

Section 1, however, may be discriminatory in practical effect because it favors an in-state industry (wind) over an out-of-state industry (natural gas). *See Hunt v. Washington State Apple Advertising Comm'n*, 432 U.S. 333 (1977) (invalidating state statute that imposed labeling requirements on out-of-state apple producers, effectively advantaging in-state apple producers). This discriminatory-impact argument, however, likely fails under *Exxon Corp. v. Governor of Maryland*, 437 U.S. 117 (1978) (upholding ban on refiner-owned service stations by state in which no refiners were located). In *Exxon* the Court read the *Hunt* discriminatory-impact test to apply to a direct impact on out-of-state firms in the primary market (apples) regulated by the state. *Exxon*, 437 U.S. at 126. In *Exxon*, the discriminatory impact was in a market (refining) different from the one regulated by the state (service stations), and so the state law was not found to be discriminatory. Here, the discriminatory impact of Section 1 is felt in a market (natural gas production) different from the one being regulated (generation of electricity). *See also Minnesota v. Cloverleaf Creamery Co.*, 449 U.S. 456 (1981) (upholding state law requiring milk to be sold in paper cartons, even though it favored in-state paper industry over out-of-state plastics industry). Although evidence of protectionist motives (such as statements in the legislative history) might be relevant to whether the law is discriminatory in practical effect, *see Kassel v. Consolidated Freightways Corp.*, 450 U.S. 662 (1981), the facts do not suggest any such motive.

Further, Section 1 does not appear to burden interstate commerce in ways that are clearly excessive in relation to the putative in-state benefits. *See Pike v. Bruce Church, Inc.*, *supra*. There is no indication of an especially significant burden on interstate commerce. *Cf. Bibb v. Navajo Freight Lines, Inc.*, 359 U.S. 520 (1959) (invalidating state law obstructing flow of interstate commerce); *Edgar v. MITE Corp.*, 457 U.S. 624 (1982) (invalidating state law that imposed

extraterritorial regulations on out-of-state activities). Conversely, the findings of the legislature indicate that the law's goal is to promote environmentally friendly energy sources, which could reduce air pollution and generate other significant local benefits (e.g., less use of water in electricity production).

Point Two (35%)

Section 2 of the Act, as applied by the Public Service Commission, is likely unconstitutional because it discriminates against out-of-state consumers by preventing the export of electricity from new coal-burning power plants. Although the environmental purposes of the law are legitimate, the law is not narrowly tailored to meet them.

Section 2 of the Act, and the Public Service Commission's denial of a permit for an out-of-state utility's coal-burning power plant, are discriminatory on their face. While a general ban on the construction of coal-burning power plants would not be discriminatory because it would treat resident and nonresident producers and consumers alike, the State A law creates an exception for the urgent energy needs of state residents only. Thus, the law treats in-state electricity consumers more favorably than out-of-state consumers and effectively bans the export of electricity from new in-state coal-burning plants. *See H.P. Hood & Sons, Inc. v. du Mond*, 336 U.S. 525 (1949) (invalidating denial of license for plant to process milk for export to another state).

The permit denial here discriminates against out-of-state consumers. If the application had been for the sale of electricity to meet the urgent needs of consumers in State A, the application could have been approved. Instead, it was denied because the State B utility only identified the urgent needs of consumers in State B. The case is analogous to *City of Philadelphia v. New Jersey*, 437 U.S. 617 (1978), where the Court invalidated a New Jersey law prohibiting the disposal of out-of-state waste in New Jersey landfills, effectively precluding the export of waste disposal services and preferring in-state consumers. In *City of Philadelphia*, the Court made clear that it does not matter whether the law has a legitimate environmental purpose; the state may not use discriminatory means to accomplish it.

Insofar as the law is discriminatory, it is invalid unless it is narrowly tailored to meet a legitimate, nonprotectionist purpose. *See Maine v. Taylor*, 477 U.S. 131 (1986) (upholding ban on importation of live baitfish because of threat of parasites introduced into in-state waters). In particular, a law is not narrowly tailored if there are less discriminatory alternative means to accomplish the state's purpose. *See, e.g., Hughes v. Oklahoma*, 441 U.S. 322 (1979). Thus, although reducing air pollution from coal-burning plants (the apparent reason for Section 2) may be a legitimate, nonprotectionist purpose, the law is not narrowly tailored. There are less discriminatory alternatives that would better accomplish the state's objectives, such as (1) strict environmental regulation of all in-state coal-burning power plants, (2) an across-the-board ban on all in-state coal-burning power plants (without any exception), and (3) an exception for such plants for urgent energy needs that does not discriminate against out-of-state consumers.

Point Three (25%)

Section 3, even though it discriminates against out-of-state vendors by requiring the state to prefer in-state vendors, is a valid exercise of the state's role as a "market participant."

The state may discriminate in favor of residents when buying or selling goods and services because the state is acting as a "market participant" rather than as a regulator of an economic activity. *See Reeves v. Stake*, 447 U.S. 429 (1980) (state-owned cement plant could confine sales to state residents during cement shortage). Thus, State A may limit its purchases to vendors in the state. *See Hughes v. Alexandria Scrap Corp.*, 426 U.S. 794, 810 (1976) (state bounty for scrap automobiles may favor in-state processors of junked vehicles). Thus, even though the out-of-state vendor meets all of State A's requirements for an "environmentally friendly" vendor, State A is still entitled to favor in-state vendors over the out-of-state vendor.

DECEDENTS' ESTATES ANALYSIS

Decedents' Estates II.I.6.; IV.D.

ANALYSIS

Legal Problems:

- (1) Did the patient's son, her health-care agent designated under a durable power of attorney, have the power to instruct the doctor to enter a DNR order?
- (2) Could the patient's son be found liable for the patient's death in a wrongful death action?
- (3) Is the patient's son barred from taking a share of the patient's estate under the state statute?

DISCUSSION

Summary

The attorney is incorrect on all counts.

An agent acting under a durable health-care power of attorney (POA) is authorized to make health-care decisions on behalf of the principal whenever the principal lacks the capacity to make a decision herself. A duly appointed agent may make decisions on behalf of the principal without the concurrence of the principal's relatives. A durable power is not dependent upon a particular diagnosis and remains in effect until and unless rescinded by the principal. Here, because the patient was unconscious and unable to make health-care decisions, the son, her duly appointed agent, was authorized to direct the doctor to enter a DNR order, even though the patient signed the power when faced with a different medical condition. The opposition of the patient's other children is irrelevant.

Typical health-care durable powers statutes provide that agents acting in "good faith" are immune from civil suit (such as a wrongful death action). Here, because there is no evidence of bad faith, the son is likely immune from liability for the patient's death.

The statute which precludes distribution of a share of a decedent's estate to an individual who caused the decedent's death should be deemed inapplicable to the son. On the facts, there is a strong argument that the son did not intentionally kill his mother. Moreover, most durable powers statutes specify that a death resulting from the withholding of treatment at the agent's directive is not to be treated as a homicide or an intentional taking of the patient's life. The statute also appears to be a form of slayer statute, which generally applies only to intentional and felonious killing.

Point One (40%)

An agent acting under a durable health-care POA is empowered to make health-care decisions whenever the principal lacks capacity to make a health-care decision. Thus, the patient's son could authorize the doctor to enter the DNR order here.

All states have adopted statutes authorizing advance directives and durable health-care powers. An advance directive (sometimes called a living will) specifies the patient's (non)treatment preferences should he or she become incapacitated. A durable health-care POA empowers a designated agent to make health-care decisions for the principal in the event of the principal's incapacity. *See generally* Bretton J. Hottor, *A Survey of Living Will and Advanced Health Care Directives*, 74 N.D. L. REV. 233 (1998) (surveying the relevant laws of all states).

Unless a durable POA specifies otherwise, a designated agent is empowered to make health-care decisions for the principal whenever the principal lacks capacity; the power is not limited to a particular illness or for a particular time period. *See* UNIF. HEALTH-CARE DECISIONS ACT §§ 2(c), 4; *see also* § 1(5) (discussed in Point Two below). Here, there is no language in the power conditioning the agent's authority to act for the principal except the patient's incapacity. Thus, the fact that the patient was motivated to execute the power because of a cancer diagnosis does not limit her designated agent's power to cancer-related decisions.

In the absence of specific instructions, a designated agent shall make decisions for the principal "in accordance with the agent's determination of the principal's best interest . . . [considering] the principal's personal values to the extent known to the agent." UNIF. HEALTH-CARE DECISIONS ACT § 2(e). Here, the facts specify that the patient's son was confident that his mother would not want to be kept on life support if permanently unconscious. Given that a cardiac arrest would substantially increase the already high risk of permanent unconsciousness, the son's instruction not to resuscitate appears to be consistent with the patient's best interest. This conclusion is arguably supported by the fact that the doctor does not seem to have disagreed with entry of a DNR order. Indeed, if the doctor did not believe that entry of a DNR order was consistent with the patient's interests and the applicable standard of care, he could—and probably should—have declined to issue a DNR order. *See id.* § 7(f).

Had the patient not executed a durable health-care power, a majority of the siblings would have had to agree upon health-care decisions for their mother. *See id.* § 5(e). However, when, as here, an agent has been designated by the patient, the agent may act on behalf of the patient without consulting family members who are not designated agents of the patient. *See id.* § 5(a).

[NOTE: In some cases of family conflict about treatment for an incapacitated principal, courts have required a surrogate decision maker to provide clear and convincing evidence of the patient's wishes as a precondition to withdrawing life-sustaining treatment. *See In re Martin*, 450 Mich. 204, 538 N.W.2d 399 (1995); *In re Wendland*, 26 Cal. 4th 519 (2001). However, in none of the reported cases did the surrogate hold a durable power, and at least one state high court has noted that the clear and convincing evidence requirement is not applicable to an agent with a durable power. *Wendland, supra.*]

Point Two (30%)

An agent who acts in good faith is not liable for damages in a wrongful death action. Here, because there is no evidence that the son did not act in good faith, he would not be liable for damages in a wrongful death action.

State laws governing durable health-care powers of attorney typically insulate an agent who has acted in good faith from civil and criminal liability. *See, e.g.*, UNIF. HEALTH-CARE DECISIONS ACT § 9(b) (“An individual acting as an agent . . . is not subject to civil or criminal liability . . . for health-care decisions made in good faith.”). A health-care decision includes directions “to provide, withhold, or withdraw . . . all other forms of health care.” *Id.* § 1(6). Health care means “any care, treatment, service or procedure to maintain, diagnose, or otherwise affect an individual’s physical . . . condition.” *Id.* § 1(5).

Here, the son appears to have acted in good faith. The facts specify that the son was confident that the patient, his mother, would not want to be maintained in a permanently unconscious condition, there was more than a 50 percent chance of permanent unconsciousness, the patient was of advanced age, both cardiac arrest and stroke presented the risk of additional brain damage, and the doctor’s acquiescence suggests that a DNR order was consistent with the standard of care applicable to the patient. There are no facts suggesting that the son acted in bad faith. The fact that the patient named her son as agent may also indicate that she trusted his judgment and understanding of her values.

Point Three (30%)

The son is not barred from claiming a share of the patient’s estate. The statute bars claimants who “intentionally” cause the decedent’s death, which the son did not do. Moreover, the son is not the type of claimant the statute is intended to bar.

The state statute provides: “No person shall share in the estate of a decedent when he or she intentionally caused the decedent’s death.” The statute appears to be a so-called “slayer statute,” which typically bars those who have feloniously and intentionally killed a decedent from taking a portion of the decedent’s estate. *See, e.g.*, UNIF. PROBATE CODE § 2-803(b) (person who “feloniously and intentionally kills the decedent forfeits all benefits . . .”).

Here, the statute applies to slayers who “intentionally cause[] the decedent’s death,” creating an argument that it applies to the patient’s son. Thus, statutes such as UNIF. HEALTH-CARE DECISIONS ACT § 13(b), providing that “[d]eath resulting from the withholding . . . of health care in accordance with this [Act] does not for any purpose constitute suicide or homicide . . .,” do not resolve the question whether an actor “caused” a death. However, there is a strong argument that the patient’s son did not “intentionally cause” his mother’s death as that phrase is used in the statute. Moreover, factually the son did not cause his mother’s death. The son specified only that medical personnel should not resuscitate the patient in given circumstances, and the doctor agreed and entered a DNR order on the patient’s chart. The immediate cause of the patient’s death was cardiac arrest, and it is not even clear that a resuscitation attempt would have been successful. Moreover, medical ethicists do not typically regard withholding of treatment as the cause of death, and this perspective has found judicial support. *See, e.g., Woods v. Commonwealth*, 142 S.W.3d 24, 45 (Ky. 2004) (“In letting die, the cause of death is seen as the underlying disease process or trauma”); *accord, Baxter v. State*, 224 P.3d 1211 (Mont. 2009).

Decedents' Estates Analysis

Applying the state slayer statute to the son would also be inconsistent with the typical immunity provision in power of attorney statutes. For example, Uniform Health-Care Decisions Act § 9 immunizes agents acting in good faith from civil liability (*see* Point Two), and disinheritance is akin to civil liability, as both result in the loss of assets to which the penalized individual is otherwise entitled. Applying the statute to the son would also undermine an important purpose of durable power of attorney statutes, ensuring that individuals can choose who makes decisions on their behalf in the event of incapacity. Individuals typically choose as agents close relatives who are potential heirs or distributees; many of these individuals would be reluctant to serve if they stood to lose a share of the estate based on making a good-faith decision which led to the principal's death.

Thus, the son should not be barred from taking a share of his mother's estate.

[NOTE: An examinee who concludes that the patient's son caused, or contributed to, his mother's death but finds that the slayer statute does not apply should receive credit.]

FAMILY LAW ANALYSIS

Family Law III.D.

ANALYSIS

Legal Problems:

- (1) Is the premarital agreement enforceable under the Uniform Premarital Agreement Act?
- (2)(a) What assets owned by the man and the woman are subject to division at divorce? (2)(b) Under an equitable distribution rule, what factors will a court consider in distributing the couple's divisible assets?

Summary

DISCUSSION

Under the UPAA, adopted in this state, a premarital agreement will be enforced unless the party against whom enforcement is sought (1) did not execute the agreement voluntarily or (2) both (a) did not receive or waive fair and reasonable disclosure of assets of the other party and (b) can show that the agreement was unconscionable when executed. Here, the agreement is likely enforceable because the woman fully disclosed her assets and the facts do not support a finding that the man entered into the agreement involuntarily.

At divorce, most states permit the division of only marital or community property (i.e., property acquired during the marriage except by gift, descent, or devise). Marital property typically continues to accrue until the date a divorce is final, although some states use an earlier date, typically the date of separation or divorce filing. An increase in the value of a premarital asset resulting from significant spousal effort during marriage is divisible; an increase in the value of a premarital asset resulting solely from market appreciation remains separate. Thus, the woman's lottery winnings are probably divisible because the woman purchased the winning ticket before a divorce action was filed. The fact that the woman may receive the lottery winnings after divorce does not alter this result. The woman's condominium is not divisible marital property because it was acquired before marriage and its increased value is due to market forces. Some portion of the woman's brokerage account is divisible, as the woman made contributions with marital earnings. At least some of the man's future royalties are divisible because the man expended significant effort during the marriage on the novel from which those royalties will derive. Again, the fact that the man will receive the royalties after divorce does not alter their divisibility at divorce.

When equitably dividing marital property, courts consider need, contribution (both monetary and nonmonetary), and marital duration. Here, the marriage was short, the man is the needier spouse, and the woman has made larger financial contributions to the marriage. It is difficult to ascertain who made more nonmonetary contributions to the marriage.

Point One (35%)

Under the UPAA, a premarital agreement entered into after full disclosure of assets and obligations is binding unless it was entered into involuntarily. Here, the woman fully disclosed

her assets, and the facts do not support a finding that the man signed the agreement involuntarily. Thus, the agreement is likely enforceable.

Although courts were once hostile to premarital agreements, today all states permit spouses to contract premaritally with respect to rights and obligations in property whether acquired before or during the marriage. In all states, the enforceability of such an agreement turns on three factors: voluntariness, fairness, and disclosure. How courts apply these factors varies significantly from one state to the next. In many states, an agreement is unenforceable if the party against whom enforcement is sought succeeds in showing *either* involuntariness, unfairness, or lack of adequate disclosure.

However, under the UPAA, which has been adopted in 25 states and the state in which this question is set, the party against whom enforcement is sought must prove (1) involuntariness or (2) *both* that “the agreement was unconscionable when it was executed” *and* that he or she did not receive or waive a “fair and reasonable” disclosure and “did not have or reasonably could not have had . . . an adequate knowledge” of the other’s assets and obligations. UPAA § 6(a). Thus, a court may not refuse to enforce a premarital agreement based on substantive unfairness unless it also finds lack of adequate disclosure or knowledge.

Here, the man cannot show inadequate disclosure because the woman gave him an accurate asset list with the agreement. Under the UPAA, the man thus must show that the execution of the agreement was involuntary in order to avoid its enforcement.

In considering whether a premarital agreement was voluntarily executed, courts look to whether there was fraud, duress, or coercion. They agree that one party’s insistence on signing the agreement as a condition of the marriage does not, of itself, render the agreement involuntary, but there is no consensus on what additional facts are sufficient to establish involuntariness. *See* PRINCIPLES OF THE LAW OF FAMILY DISSOLUTION: ANALYSIS & RECOMMENDATIONS § 7.04 cmt. c (2002). Many of the reported cases, like this one, involve a claim of involuntariness based on presentation of an agreement very close to the wedding. In analyzing whether an agreement signed under these circumstances is voluntary, courts have looked at a wide range of factors, including the difficulty of conferring with independent counsel, other reasons for proceeding with the marriage (for example, a preexisting pregnancy), and financial losses and embarrassment arising from cancellation of the wedding. The older cases tend to be more sympathetic to a spouse who receives a last-minute demand; “[i]n recent years, more courts have accepted [last-minute] agreements.” *See id.* § 7.04 cmt. d, reporter’s notes.

Here, the woman presented the agreement to the man only a week before the wedding. But the man had time to confer with independent counsel, and he did so. The man ultimately rejected the advice of the lawyer he consulted. The man and the woman were married at City Hall, and there are no facts suggesting any hardship that the man would have suffered from canceling or postponing the ceremony. On these facts, it is unlikely that the man can establish involuntariness. Under the UPAA, the premarital agreement thus is likely enforceable.

Point Two(a) (50%)

Assets acquired before marriage or by inheritance are separate, not marital, property. In most jurisdictions, neither separate property nor appreciation in its value is subject to division at divorce. However, significant spousal effort during the marriage that adds value to a separate asset does create divisible marital property. Thus, the woman's condominium is separate and nondivisible; the woman's lottery winnings are marital and divisible; and some portion of the woman's brokerage account and at least some of the man's royalties are also marital and divisible.

In all states (whether community property or common law jurisdictions), a divorce court may divide marital (community) property without regard to title. In this and the vast majority of jurisdictions, a divorce court may not divide separate property. In a minority of jurisdictions—so-called “hotchpot” jurisdictions—the court may divide all assets, whenever or however acquired; a few states permit the division of separate property in special circumstances, such as hardship. *See* J. THOMAS OLDHAM, *DIVORCE, SEPARATION AND THE DISTRIBUTION OF PROPERTY* § 13.02[i] n.66 (2006) (listing state regimes).

An asset is marital if it was acquired during the marriage by any means other than gift, descent, or devise. In the majority of states, marital property continues to accrue until a final divorce decree is entered. *See* HARRY D. KRAUSE, LINDA D. ELROD, MARSHA GARRISON, and J. THOMAS OLDHAM, *FAMILY LAW CASES, COMMENTS, AND QUESTIONS* 756 (6th ed. 2007). In some states, however, marital property ceases to accrue after the date of permanent separation (*see, e.g.*, N.C. GEN. STAT. § 50-20) or the date of divorce filing (*see, e.g.*, N.Y. DOM. REL. L. § 236B). However, expectancies created during the marriage are still marital even if payment will not be received until after the marriage ends. Even contingent expectancies such as unvested pension rights are subject to division at divorce if they were acquired through spousal effort during the marriage. *See* KRAUSE ET AL., *supra*, note at 773–76.

An asset that is initially separate property may be partially transformed into divisible marital property if marital funds or significant effort by the owner-spouse enhance its value or build equity. In the vast majority of states, the appreciation of separate assets during the marriage does not create marital property. *See* J. THOMAS OLDHAM, *supra*, § 5.03(4). *But see* COLO. REV. STAT. § 14-10-113.

Here, unless the woman and the man live in a state in which marital property ceases to accrue after separation, the woman's lottery award is marital property because the woman purchased the winning ticket before the man filed for divorce. It does not matter that the woman may not receive any winnings before the divorce filing.

The entire value of the woman's condominium is separate property because she purchased the condominium outright before marriage, and the facts indicate that its increased value is due entirely to market forces, not spousal efforts or marital funds.

Some portion of the woman's brokerage account is divisible marital property because the woman contributed her employment bonuses during the marriage to that account; only the portion attributable to investments the woman made before marriage remains separate.

Some, if not all, of the royalties the man will receive in the future are divisible marital property despite the fact that the man began the novel before marriage. Significant spousal effort during marriage that enhances the value of a separate asset creates marital property, and the man worked at paid employment only part-time throughout the marriage in order to work on the novel. The facts do not specify how much the man worked on the novel during the marriage. If the man completed a significant portion of the novel during the marriage, the value of the novel would be apportioned into separate and marital components. *See* KRAUSE ET AL., *supra*, at 763; *Cockrill v. Cockrill*, 601 P.2d 1334 (Ariz. 1979) (describing apportionment principles). It is irrelevant that the royalties will not be received until after the marriage ends. *See* KRAUSE ET AL., *supra*, at 756.

[NOTE: The above analysis applies in both common law and community property jurisdictions. Although the rules governing asset *management* and *distribution at death* vary depending on whether the jurisdiction is a common law or community property state, today, all states disregard title in defining the pool of assets available for divorce. Indeed, the marital property rules applicable in common law states are sometimes referred to as "deferred" community property.]

Point Two(b) (15%)

In dividing marital assets, divorce courts look at contribution (monetary and nonmonetary), need, and marital duration. Here, the marriage was short, the man is the needier spouse, and the woman made greater financial contributions to the marriage, contributions which may have enabled the man to complete his novel.

In an equitable distribution state, courts have broad authority to divide property fairly. Typically, either by statute or by case law, courts are given a list of relevant, non-exclusive factors to consider. Relevant factors usually include the duration of the marriage; indicators of each spouse's future needs (including age, health, resources, and occupational opportunities); and contributions of the parties to the marriage and the acquisition of assets. *See* OLDHAM, *supra*, § 13.02[1].

Here, the woman appears to have made much larger financial contributions to the marriage than the man, and she appears to be better off now than the man because of her occupation as an investment banker and her lottery winnings. The couple has no children, so the man has made no significant nonfinancial contributions as a parent; there are also no facts to suggest that he has made significant nonfinancial contributions as a homemaker. Instead, the woman's support freed the man to work on his novel.

The broad discretion given courts to distribute property equitably often makes it impossible to predict with certainty how a court will divide marital property. *See* IRA MARK ELLMAN ET AL., *FAMILY LAW: CASES, TEXT, PROBLEMS* 323 (5th ed. 2010).

[NOTE: An examinee may appropriately note that the uncertain value of the man's expected royalties may play a role in determining how a property award should be fashioned. With a pension of uncertain value to be paid in the future, courts often order payment of a specified percentage of pension payments when those payments are actually made instead of requiring the title-holding spouse to compensate the other spouse at the time of divorce.]

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MEE Questions
and Analyses

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the July 2016 MEE. (In the actual test, the questions are simply numbered rather than being identified by area of law.) The instructions for the test appear on page iii.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, identified by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Civil Procedure question on the July 2016 MEE tested the following areas from the Civil Procedure outline: I.A., B., D. Jurisdiction and venue—Federal subject-matter jurisdiction (federal question, diversity, supplemental, and removal); Personal jurisdiction; Venue, forum non conveniens, and transfer.

For more information about the MEE, including subject matter outlines, visit the NCBE website at www.ncbex.org.

Description of the MEE

The MEE consists of six 30-minute questions and is a component of the Uniform Bar Examination (UBE). It is administered by user jurisdictions as part of the bar examination on the Tuesday before the last Wednesday in February and July of each year. Areas of law that may be covered on the MEE include the following: Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Civil Procedure, Conflict of Laws, Constitutional Law, Contracts (including Article 2 [Sales] of the Uniform Commercial Code), Criminal Law and Procedure, Evidence, Family Law, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Article 9 [Secured Transactions] of the Uniform Commercial Code. Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusions. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Answer all questions according to generally accepted fundamental legal principles unless your testing jurisdiction has instructed you to answer according to local case or statutory law.

NOTE: Examinees testing in UBE jurisdictions must answer according to generally accepted fundamental legal principles rather than local case or statutory law.

July 2016 MEE Questions

Corporations & Limited Liability Companies

Evidence/Criminal Law & Procedure

Torts

Secured Transactions/Real Property

Contracts

Civil Procedure

CORPORATIONS & LIMITED LIABILITY COMPANIES

QUESTION

Two siblings, a brother and a sister, decided to start a bike shop with their cousin. They filed a certificate of organization to form a limited liability company. The brother and the sister paid for their LLC member interests by each contributing \$100,000 in cash to the LLC. Their cousin paid for his LLC member interest by conveying to the LLC five acres of farmland valued at \$100,000; the LLC then recorded the deed.

Neither the certificate of organization nor the members' operating agreement specifies whether the LLC is member-managed or manager-managed. However, the operating agreement provides that the LLC's farmland may not be sold without the approval of all three members.

Following formation of the LLC, the company rented a storefront commercial space for the bike shop and opened for business.

Three months ago, purporting to act on behalf of the LLC, the brother entered into a written and signed contract to purchase 100 bike tires for \$6,000 from a tire manufacturer. When the tires were delivered, the sister said that they were too expensive and told her brother to return the tires. The brother was surprised by his sister's objection because twice before he had purchased tires for the LLC at the same price from this manufacturer, and neither his sister nor their cousin had objected. The brother refused to return the tires, pointing out that the tires "are perfect for the bikes we sell." The sister responded, "Well, pay the bill with your own money; you bought them without my permission." The brother responded, "No way. I bought these for the store, I didn't need your permission, and the company will pay for them." To date, however, the \$6,000 has not been paid.

One month ago, purporting to act on behalf of the LLC, the cousin sold the LLC's farmland to a third-party buyer. The buyer paid \$120,000, which was well above the land's fair market value. Only after the cousin deposited the sale proceeds into the LLC bank account did the brother and sister learn of the sale. Both of them objected.

One week ago, the brother wrote in an email to his sister, "I want out of our business. I don't want to have anything to do with the bike shop anymore. Please send me a check for my share."

1. What type of LLC was created—member-managed or manager-managed? Explain.
2. Is the LLC bound under the tire contract? Explain.
3. Is the LLC bound by the sale of the farmland? Explain.
4. What is the legal effect of the brother's email? Explain.

EVIDENCE/CRIMINAL LAW & PROCEDURE QUESTION

A defendant was tried before a jury for a robbery that had occurred at Jo-Jo's Bar on November 30. At trial, the prosecutor called the police officer who had investigated the crime. Over defense counsel's objection, the officer testified as follows:

Officer: I arrived at the defendant's home on the morning of December 1, the day after the robbery. He invited me inside, and I asked him, "Did you rob Jo-Jo's Bar last night?" The defendant immediately started crying. I decided to take him to the station. Before we left for the station, I read him Miranda warnings, and he said, "Get me a lawyer," so I stopped talking to him.

Prosecutor: Did the defendant say anything to you at the station?

Officer: I think he did, but I don't remember exactly what he said.

Immediately after this testimony, the prosecutor showed the officer a handwritten document. The officer identified the document as notes she had made on December 2 concerning her interaction with the defendant on December 1. The prosecutor provided a copy of the document to defense counsel. The document, which was dated December 2, stated in its entirety:

The defendant burst into tears when asked if he had committed the robbery. He then received and invoked Miranda rights. I stopped the interrogation and didn't ask him any more questions, but as soon as we arrived at the station the defendant said, "I want to make a deal; I think I can help you." I reread Miranda warnings, and this time the defendant waived his rights and said, "I have some information that can really help you with this case." When I asked him how he could help, the defendant said, "Forget it—I want my lawyer." When the defendant's lawyer arrived 30 minutes later, the defendant was released.

The officer then testified as follows:

Prosecutor: After reviewing your notes, do you remember the events of December 1?

Officer: No, but I do remember making these notes the day after I spoke with the defendant. At that time, I remembered the conversation clearly, and I was careful to write it down accurately.

Over defense counsel's objection, the officer was permitted to read the document to the jury. The prosecutor also asked that the notes be received as an exhibit, and the court granted that request, again over defense counsel's objection. The testimony then continued:

Prosecutor: Did you speak to the defendant any time after December 1?

Officer: Following my discovery of additional evidence implicating the defendant in the robbery, I arrested him on December 20. Again, I read the defendant his Miranda rights. The defendant said that he would waive his Miranda rights. I then asked him if he was involved in the robbery of Jo-Jo's Bar, and he said, "I was there on November 30 and saw the robbery, but I had nothing to do with it."

Defense counsel objected to the admission of this testimony as well. The court overruled the objection.

The defendant's trial for robbery was held in a jurisdiction that has adopted all of the Federal Rules of Evidence.

Were the following decisions by the trial court proper?

1. Admitting the officer's testimony that the defendant started crying. Explain.
2. Permitting the officer to read her handwritten notes to the jury. Explain.
3. Admitting the officer's handwritten notes into evidence as an exhibit. Explain.
4. Admitting the officer's testimony recounting the defendant's statement, "I have some information that can really help you with this case." Explain.
5. Admitting the officer's testimony recounting the defendant's statement, "I was there on November 30 and saw the robbery, but I had nothing to do with it." Explain.

TORTS QUESTION

Six months ago, a man visited his family physician, a general practitioner, for a routine examination. Based on blood tests, the physician told the man that his cholesterol level was somewhat elevated. The physician offered to prescribe a drug that lowers cholesterol, but the man stated that he did not want to start taking drugs because he preferred to try dietary change and “natural remedies” first. The physician told the man that natural remedies are not as reliable as prescription drugs and urged the man to come back in three months for another blood test. The physician also told the man about a recent research report showing that an herbal tea made from a particular herb can reduce cholesterol levels.

The man purchased the herbal tea at a health-food store and began to drink it. The man also began a cholesterol-lowering diet.

Three months ago, the man returned to his physician and underwent another blood test; the test showed that the man’s cholesterol level had declined considerably. However, the test also showed that the man had an elevated white blood cell count. The man’s test results were consistent with several different infections and some types of cancer. Over the next two weeks, the physician had the man undergo more tests. These tests showed that the man’s liver was inflamed but did not reveal the reason. The physician then referred the man to a medical specialist who had expertise in liver diseases. In the meantime, the man continued to drink the herbal tea.

Two weeks ago, just before the man’s scheduled consultation with the specialist, the man heard a news bulletin announcing that government investigators had found that the type of herbal tea that the man had been drinking was contaminated with a highly toxic pesticide. The investigation took place after liver specialists at a major medical center realized that several patients with inflamed livers and elevated white blood cell counts, like the man, were all drinking the same type of herbal tea and the specialists reported this fact to the local health department.

All commercially grown herbs used for this tea come from Country X, and are tested for pesticide residues at harvest by exporters that sell the herb in bulk to the five U.S. companies that process, package, and sell the herbal tea to retailers. U.S. investigators believe that the pesticide contamination occurred in one or more export warehouses in Country X where bulk herbs are briefly stored before sale by exporters, but they cannot determine how the contamination occurred or what bulk shipments were sent to the five U.S. companies. The companies that purchase the bulk herbs do not have any control over these warehouses, and there have been no prior incidents of pesticide contamination. The investigators have concluded that the U.S. companies that process, package, and sell the herbal tea were not negligent in failing to discover the contamination.

Packages of tea sold by different companies varied substantially in pesticide concentration and toxicity, and some packages had no contaminants. Further investigation has established that the levels of contamination and toxicity in the herbal tea marketed by the five different U.S. companies were not consistent.

The man purchased all his herbal tea from the same health-food store. The man is sure that he purchased several different brands of the herbal tea at the store, but he cannot establish which brands. The store sells all five brands of the herbal tea currently marketed in the United States.

The man has suffered permanent liver damage and has sued to recover damages for his injuries. It is undisputed that the man's liver damage was caused by his herbal tea consumption. The man's action is not preempted by any federal statute or regulation.

1. Is the physician liable to the man under tort law? Explain.
2. Are any or all of the five U.S. companies that processed, packaged, and sold the herbal tea to the health-food store liable to the man under tort law? Explain.
3. Is the health-food store liable to the man under tort law? Explain.

SECURED TRANSACTIONS/REAL PROPERTY QUESTION

Two years ago, PT Treatment Inc. (PTT), incorporated in State A, decided to build a new \$90 million proton-therapy cancer treatment center in State A. The total cost to PTT for purchasing the land and constructing the building to house the treatment facility was \$30 million. PTT financed the purchase and construction with \$10 million of its own money and \$20 million that it borrowed from Bank. To secure its obligation to Bank, PTT granted Bank a mortgage on the land and all structures erected on the land. The mortgage was properly recorded in the county real estate records office, but it was not identified as a construction mortgage.

Two months after the mortgage was recorded, PTT finalized an agreement for the purchase of proton-therapy equipment from Ion Medical Systems (Ion) for \$60 million. PTT made a down payment of \$14 million and signed a purchase agreement promising to pay the remaining \$46 million in semi-annual payments over a 10-year period. The purchase agreement provided that Ion has a security interest in the proton-therapy equipment to secure PTT's obligation to pay the remaining purchase price. On the same day, Ion filed a properly completed financing statement with the office of the Secretary of State of State A (the central statewide filing office designated by statute), listing "PT Treatment Inc." as debtor and indicating the proton-therapy equipment as collateral.

Shortly thereafter, Ion delivered the equipment to PTT and PTT's employees installed it. The equipment was attached to the building in such a manner that, under State A law, it is considered a fixture and an interest in the equipment exists in favor of anyone with an interest in the building.

The new PTT Cancer Treatment Center opened for business last year. Unfortunately, it has not been an economic success. For a short period, PTT contracted with State A Oncology Associates (Oncology) for the latter's use of the proton-therapy equipment pursuant to a lease agreement, but Oncology failed to pay the agreed fee for the use of the equipment, so PTT terminated that arrangement. To date, PTT has been unsuccessful in its efforts to collect the amounts that Oncology still owes it. PTT's own doctors and technicians have not attracted enough business to fully utilize the cancer treatment center or generate sufficient billings to meet PTT's financial obligations. PTT currently owes Ion more than \$30 million and is in default under the security agreement. Ion is concerned that PTT will soon declare bankruptcy.

In a few days, Ion will be sending a technician to the PTT facility to perform regular maintenance on the equipment. Ion is considering instructing the technician to complete the maintenance and then disable the equipment so that it cannot be used by PTT until PTT pays what it owes.

1. In view of PTT's default, if Ion disables the proton-therapy equipment, will it incur any liability to PTT? Explain.
2. If PTT does not pay its debts to either Bank or Ion, which of them has a superior claim to the proton-therapy equipment? Explain.
3. Does Ion have an enforceable and perfected security interest in any of PTT's assets other than the proton-therapy equipment? Explain.

CONTRACTS QUESTION

A homeowner and his neighbor live in houses that were built at the same time. The two houses have identical exteriors and are next to each other. The homeowner and his neighbor have not painted their houses in a long time, and the exterior paint on both houses is cracked and peeling. A retiree, who lives across the street from the homeowner and the neighbor, has complained to both of them that the peeling paint on their houses reduces property values in the neighborhood.

Last week, the homeowner contacted a professional housepainter. After some discussion, the painter and the homeowner entered into a written contract, signed by both of them, pursuant to which the painter agreed to paint the homeowner's house within 14 days and the homeowner agreed to pay the painter \$6,000 no later than three days after completion of painting. The price was advantageous for the homeowner because, to paint a house of that size, most professional housepainters would have charged at least \$8,000.

The day after the homeowner entered into the contract with the painter, he told his neighbor about the great deal he had made. The neighbor then stated that her parents wanted to come to town for a short visit the following month, but that she was reluctant to invite them. "This would be the first time my parents would see my house, but I can't invite them to my house with its peeling paint; I'd be too embarrassed. I'd paint the house now, but I can't afford the going rate for a good paint job."

The homeowner, who was facing cash-flow problems of his own, decided to offer the neighbor a deal that would help them both. The homeowner said that, for \$500, the homeowner would allow the neighbor to take over the homeowner's rights under the contract. The homeowner said, "You'll pay me \$500 and take the contract from me; the painter will paint your house instead of mine, and when he's done, you'll pay him the \$6,000." The neighbor happily agreed to this idea.

The following day, the neighbor paid the homeowner \$500 and the homeowner said to her, "The paint deal is now yours." The neighbor then invited her parents for the visit that had been discussed. The neighbor also remembered how annoyed the retiree had been about the condition of her house. Accordingly, she called the retiree and told him about the plans to have her house painted. The retiree responded that it was "about time."

Later that day, the homeowner and the neighbor told the painter about the deal pursuant to which the neighbor had taken over the contract from the homeowner. The painter was unhappy with the news and stated, "You can't change my deal without my consent. I will honor my commitment to paint the house I promised to paint, but I won't paint someone else's house."

There is no difference in magnitude or difficulty between the work required to paint the homeowner's house and the work required to paint the neighbor's house.

1. If the painter refuses to paint the neighbor's house, would the neighbor succeed in a breach of contract action against the painter? Explain.
2. Assuming that the neighbor would succeed in the breach of contract action against the painter, would the retiree succeed in a breach of contract action? Explain.

Contracts Question

3. If the painter paints the neighbor's house and the neighbor does not pay the \$6,000 contract price, would the painter succeed in a contract claim against the neighbor? Against the homeowner? Explain.

CIVIL PROCEDURE QUESTION

A woman and a man have both lived their entire lives in State A. The man once went to a gun show in State B where he bought a gun. Otherwise, neither the woman nor the man had ever left State A until the following events occurred.

The woman and the man went hunting for wild turkey at a State A game preserve. The man was carrying the gun he had purchased in State B. The man had permanently disabled the gun's safety features to be able to react more quickly to a turkey sighting. The man dropped the gun and it accidentally fired, inflicting a serious chest wound on the woman. The woman was immediately flown to a hospital in neighboring State C, where she underwent surgery.

One week after the shooting accident, the man traveled to State C for business and took the opportunity to visit the woman in the hospital. During the visit, the woman's attorney handed the man the summons and complaint in a suit the woman had initiated against the man in the United States District Court for the District of State C. Two days later, the woman was released from the hospital and returned home to State A where she spent weeks recovering.

The woman's complaint alleges separate claims against the man: 1) a state-law negligence claim and 2) a federal claim under the Federal Gun Safety Act (Safety Act). The Safety Act provides a cause of action for individuals harmed by gun owners who alter the safety features of a gun that has traveled in interstate commerce. The Safety Act caps damages at \$100,000 per incident, but does not preempt state causes of action. The woman's complaint seeks damages of \$100,000 on the Safety Act claim and \$120,000 on the state-law negligence claim. Both sets of damages are sought as compensation for the physical suffering the woman experienced and the medical costs the woman incurred as a result of the shooting.

The man has moved to dismiss the complaint, asserting (a) lack of personal jurisdiction, (b) lack of subject-matter jurisdiction, and (c) improper venue. State C's jurisdictional statutes provide that state courts may exercise personal jurisdiction "to the limits allowed by the United States Constitution."

With respect to each asserted basis for dismissal, should the man's motion to dismiss be granted? Explain.

July 2016 MEE Analyses

Corporations & Limited Liability Companies

Evidence/Criminal Law & Procedure

Torts

Secured Transactions/Real Property

Contracts

Civil Procedure

CORPORATIONS & LIMITED LIABILITY COMPANIES ANALYSIS

Corporations and Limited Liability Companies I.C., D.; V.D.

ANALYSIS

Legal Problems:

- (1) What type of LLC is created when neither its certificate of organization nor its operating agreement specifies whether it is member-managed or manager-managed?
- (2) In a member-managed LLC, does a member who purchases goods for the business have authority (actual or apparent) to bind the LLC when the member acted without the express approval of the other members?
- (3) In a member-managed LLC, does a member who sells land on behalf of an LLC that operates a bike shop bind the LLC when the member acted without the approval of the other members as required in their operating agreement?
- (4) In a member-managed LLC, does a member who withdraws unilaterally dissolve the LLC, thus forcing a winding up of the LLC's business and distribution of its net assets?

DISCUSSION

Summary

This LLC is member-managed. The default rule is that an LLC is member-managed unless the certificate of organization or the operating agreement specifies otherwise. Thus, the brother (as a member of the LLC) had the actual and apparent authority to bind the LLC to contracts involving the carrying out of the LLC's ordinary business, such as the tire-purchase contract.

On the other hand, the LLC is not bound by the farmland sale. The cousin lacked actual authority, given the specific limitation in the LLC's operating agreement concerning sale of the company's farmland. In addition, the cousin lacked apparent authority to sell the farmland; the sale was outside the scope of the company's ordinary business and there was no other manifestation by the company that the cousin had authority to sell the farmland.

The withdrawal of the brother resulted in his dissociation from the LLC, but he has no right to payment for his member interest or to have the LLC dissolved and wound up. Instead, the brother is entitled to distributions only if and when made by the continuing members.

Point One (20%)

The LLC is member-managed, given that neither its certificate of organization nor its operating agreement specifies otherwise.

When the certificate of organization fails to specify whether the LLC is member-managed or manager-managed, the LLC is presumed to be member-managed, unless the members' operating agreement specifies how the LLC is to be managed. *See* REVISED UNIFORM LIMITED LIABILITY COMPANY ACT (RULLCA) § 407(a) (2006). Here, given the absence of an express election to be manager-managed in either the certificate or the operating agreement, the LLC is member-managed.

[NOTE: Some examinees may discuss whether an LLC was properly formed. This question is not raised in the call and does not warrant additional credit. Generally, an LLC is formed when the certificate of organization (a.k.a. articles of organization) is filed with the Secretary of State and the LLC has at least one member. RULLCA § 201(d)(1). Here the certificate was filed and, after the three acquired their membership interests, the LLC had at least one member.]

Point Two (20%)

The LLC is bound by the tire-purchase contract, given that the brother had both actual and apparent authority to act on behalf of the LLC.

Under RULLCA, “each member [in a member-managed LLC] has equal rights in the management and conduct of the company’s activities.” RULLCA § 407(b)(2). Thus, consistent with general agency law principles and with the approach of other acts governing LLCs, each member of a member-managed LLC can bind the company to contracts for apparently carrying on the ordinary business of the company unless the member lacks authority to do so and the other party to the contract has notice that the member lacks such authority. *See, e.g.*, UNIFORM LIMITED LIABILITY COMPANY ACT (ULLCA) § 301(a) (1996). Thus, a member of a member-managed LLC has the authority—both actual and apparent—to bind the LLC, much as a partner in a general partnership.

Here, the brother had actual authority to bind the LLC, given that he was a member of the LLC and was carrying out the company’s ordinary business by purchasing tires for the bike shop, even though the other members had not expressly approved these purchases. He also had apparent authority, given that the tire manufacturer had previously sold tires to the bike shop and could rely on the appearance that the brother was again properly acting for the LLC.

Point Three (30%)

The LLC is likely not bound by the farmland sales contract, given that the cousin lacked actual authority under the operating agreement and lacked apparent authority because the sale was outside the ordinary course of the LLC’s activities.

Whether there is actual authority for a non-ordinary transaction depends on the operating agreement of the LLC, which governs “relations . . . between the members and the limited liability company” and “the activities of the company.” RULLCA § 110(a)(1), (3). Here, the members’ operating agreement specified that sale of the company’s land required consent of all members. Thus, the cousin did not have actual authority to transfer the land without the consent

of the other two members. That the cousin sold the land above fair market value is not relevant to the question of authority.

The 2006 RULLCA does not provide for “statutory” apparent authority, but instead leaves questions of a member’s authority to agency law principles. *See* RULLCA § 301(a), (b) (2006) (“A person’s status as a member does not prevent or restrict law other than this [act] from imposing liability on a limited liability company because of the person’s conduct.”). Under agency law principles, the cousin lacked *actual authority* to sell the farmland because the LLC’s operating agreement required consent by all the members for the sale of the company’s farmland.

In addition, the cousin lacked *apparent authority* to sell the land because the buyer could not reasonably rely on the cousin’s sole signature on behalf of the LLC. There is no indication that the LLC made any manifestations to the third-party buyer that the cousin was authorized to enter into the sale of the farmland or that the sale of farmland by a bike shop was in the ordinary course of the LLC’s business. *See* RULLCA § 407(b)(4) (in a member-managed LLC, matters “outside the ordinary course of the activities of the company” require the consent of all members).

Nonetheless, some earlier LLC acts provide that, absent a contrary provision in the certificate of organization, an LLC member has authority to sign and deliver a deed of the company’s interest in real property and “the instrument is conclusive” in favor of a bona fide purchaser for value without notice. *See* ULLCA § 301(c) (1996). Under these earlier statutes, acts of members not “in the ordinary course of the company’s business” bind the company only if authorized by the other members. *Id.* § 301(a)(2). Here, given that the ordinary business of the LLC was operating a bike shop, the buyer would not have been a bona fide purchaser because he should have had doubts that one LLC member alone could bind the company in the sale of land. Moreover, there is no indication that the buyer had reason to believe that the other LLC members had authorized the farmland sale.

[NOTE: Examinees might address whether the LLC could set aside the sale or seek a remedy against the cousin for his violation of fiduciary duties. This should not receive any credit, as the question asks only whether the LLC is bound by the sale of the farmland.]

Point Four (30%)

The brother’s withdrawal constitutes a “dissociation” from the LLC, but does not cause a “dissolution” and winding up of the business. Upon dissociation, he becomes entitled to distributions from the LLC only if and when made by the continuing members.

Under RULLCA, the express will of a member to withdraw results in “dissociation.” RULLCA § 602(1) (2006). Dissociation does not result in dissolution of the LLC. Dissolution under RULLCA requires the consent of all the members. *Id.* § 701(a)(2). Here, the brother’s email reflects an express will to withdraw, thus causing him to be dissociated from the LLC. The brother’s dissociation results in (1) loss of his rights to participate in the LLC and (2) rights to distributions (payments by the LLC) only if and when made by the continuing members. *Id.*

§§ 502(b), 603(a)(1), (3). He has no right to payment for his LLC interest, unless the operating agreement specifies that a withdrawing member has a right to payment upon dissociation, that the remaining members are to agree to have the LLC buy his interest, or that the other members are to consent to dissolution (and winding up of the business).

The result under the 2006 RULLCA (and other more modern LLC acts) is different from the result under some older LLC acts, including the 1996 ULLCA, which generally treat the withdrawal of a member of an at-will LLC (no term) in much the same way as the withdrawal of a partner in an at-will general partnership. *See* ULLCA § 601(1) (dissociation occurs on notice of member's express will to withdraw), § 603(a)(1) (dissociated member's interest in at-will LLC must be purchased by LLC), and § 701(a)(1) (providing that such interest be purchased by the LLC for "fair value" at time of dissociation).

[NOTE: Examinees might notice that the rights of a withdrawing LLC member are not like those of a partner in an at-will partnership, but rather more like those of a minority shareholder in a closely held corporation. Partner withdrawal in an at-will partnership, unless agreed otherwise, causes the dissolution of the partnership and a right to cash payment for the pro rata share of the withdrawing partner's interest, after satisfying any creditor claims. The withdrawal of a minority shareholder in a closely held corporation results neither in dissolution of the corporation nor in any right to pro rata payment of the corporation's net assets. Instead, the minority shareholder remains entitled to dividends and other distributions only if and when the board of directors (majority shareholders) chooses to authorize such payments.]

EVIDENCE/CRIMINAL LAW & PROCEDURE ANALYSIS

Evidence V.A., E./Criminal Law and Procedure V.B., D.

ANALYSIS

Legal Problems:

- (1) Did the admission of the officer's testimony that the defendant started crying violate the defendant's Miranda rights? Was this evidence inadmissible hearsay?
- (2) Was the officer properly permitted to read her handwritten notes to the jury?
- (3) Were the officer's notes properly received into evidence as an exhibit?
- (4) Did the admission of the officer's testimony recounting the defendant's statement "I have some information that can really help you with this case" violate the defendant's Miranda rights? Was this evidence inadmissible hearsay?
- (5) Did the admission of the officer's testimony recounting the defendant's statement "I was there on November 30 and saw the robbery, but I had nothing to do with it" violate the defendant's Miranda rights? Was this evidence inadmissible hearsay?

DISCUSSION

Summary

The trial court properly permitted the officer to testify that the defendant began crying after the officer asked him, "Did you rob Jo-Jo's Bar last night?" Crying (that does not include speaking) is not the type of compelled communication or testimony protected by the privilege against self-incrimination or the Miranda rule. Furthermore, Miranda warnings are required *only* when a suspect is both in custody and under interrogation. The defendant was under interrogation, but he was not in custody when he burst into tears. Finally, the defendant's crying did not raise hearsay concerns because it was not a statement.

The trial court properly permitted the officer to read her notes to the jury. Although the notes are hearsay, they are admissible under the hearsay exception for recorded recollections. They concern a matter about which the officer once had knowledge but now has inadequate recollection to testify fully and accurately, they were made by the officer at a time when the events were fresh in her memory, and she has testified that the notes are accurate. Thus, the notes were properly admitted and read into evidence.

However, the trial court erred by receiving the notes as an exhibit. A written document admitted as "recorded recollection" may be read to the jury, but it may not be received as an exhibit unless it is offered as such by the adverse party. Here, the adverse party (defense counsel) did not offer the document but, in fact, objected to its admission.

The trial court properly permitted the officer to recount the defendant's statement "I have some information that can really help you with this case." There was no Miranda violation because the

defendant initiated communication with the officer. Under the Federal Rules of Evidence, the out-of-court statement is not hearsay because it is an “opposing party’s statement.”

The trial court properly permitted the officer to recount the defendant’s December 20 statement. Even though the defendant had invoked his right to counsel on December 1, the officer arrested him on December 20 and interrogated him without counsel being present. Nonetheless, the defendant’s December 20 statement—“I was there on November 30 and saw the robbery, but I had nothing to do with it.”—was properly admitted. First, at the time he was arrested on December 20, the defendant had been out of police custody for over two weeks. This was sufficient time to terminate the officer’s obligation to honor the defendant’s December 1 invocation of the right to counsel. Second, the officer gave proper Miranda warnings on December 20, prior to reinitiating interrogation, and the defendant waived his rights. Finally, under the Federal Rules of Evidence, the out-of-court statement is not hearsay because it is an opposing party’s statement.

Point One (25%)

The officer’s testimony that the defendant started crying did not violate the defendant’s Miranda rights because crying is not testimonial/communicative evidence and the defendant was not in custody when he burst into tears. This testimony is not hearsay because crying is not a statement.

The trial court properly permitted the officer to testify that the defendant began crying after she asked him, “Did you rob Jo-Jo’s Bar last night?” The testimony did not violate *Miranda*, because crying is not the type of compelled communication or testimony protected by the privilege against self-incrimination. *Miranda v. Arizona*, 384 U.S. 436 (1966). *Miranda* has consistently been interpreted to protect only testimonial/communicative evidence. *See Schmerber v. California*, 384 U.S. 757, 761 (1966) (“We hold that the privilege protects an accused only from being compelled to testify against himself, or otherwise provide the State with evidence of a testimonial or communicative nature”) Here, the defendant’s crying would not be considered a testimonial communication. *Doe v. U.S.*, 487 U.S. 201, 210 (1988) (“[I]n order to be testimonial, an accused’s communication must itself, explicitly or implicitly, relate a factual assertion or disclose information.”).

Moreover, Miranda protections apply only when a suspect is both in custody and under interrogation. The defendant *was* under interrogation because the officer had asked him a direct question. *See Rhode Island v. Innis*, 446 U.S. 291, 300 (1980) (defining interrogation as “either express questioning or its functional equivalent”). But for Miranda purposes, custody can only be established if a reasonable person under similar circumstances would believe that she was in custody. *See Berkemer v. McCarty*, 468 U.S. 420 (1984). Here, when the defendant burst into tears, he was not entitled to Miranda protections, as he was not in custody because a reasonable person who had just voluntarily admitted a police officer into his home would not believe that he was in custody. *See Beckwith v. United States*, 425 U.S. 341 (1976) (daytime interrogation in the suspect’s home by several government agents not viewed as custody without a more “significant” deprivation of the suspect’s freedom of action).

Finally, crying does not raise hearsay concerns because it is not a statement. Hearsay is an out-of-court statement “offer[ed] in evidence to prove the truth of the matter asserted in the statement.” FED. R. EVID. 801(c). Here, the defendant burst into tears, but did not assert or communicate anything while he was crying.

Point Two (25%)

The notes made by the officer are hearsay, but the officer was properly permitted to read the notes to the jury as a recorded recollection. Statements by the defendant contained in the notes are nonhearsay opposing-party’s statements.

The trial court properly permitted the officer to read her notes to the jury. The document containing the officer’s notes is hearsay because it is an out-of-court statement that is “offer[ed] in evidence to prove the truth of the matter asserted in the statement.” FED. R. EVID. 801(c). However, the notes are admissible under the hearsay exception for recorded recollections. FED. R. EVID. 803(5). A recorded recollection is “[a] record that . . . is on a matter the witness once knew about but now cannot recall well enough to testify fully and accurately [and] was made . . . when the matter was fresh in the witness’s memory” *Id.* The officer’s notes are a recorded recollection because the officer, who once had knowledge of the contents of those notes, prepared them herself but had insufficient recollection of the events they described to testify fully and accurately at trial regarding those matters.

The Federal Rules of Evidence also permit the use of a writing, such as the notes, to refresh a witness’s recollection for the purpose of testifying. FED. R. EVID. 612. Here, the prosecutor’s effort to use the notes to refresh the officer’s recollection was not successful because even after reading the notes, the officer still had insufficient recollection to enable her to testify fully and accurately. However, the officer also testified that she remembered making the notes and that she was careful to write the notes correctly. Thus, the court properly admitted the notes into evidence and permitted the officer to read them to the jury. FED. R. EVID. 803(5).

The notes themselves recount additional out-of-court statements made by the defendant (a second level of hearsay), but these statements are deemed nonhearsay by the hearsay exception for out-of-court statements by opposing parties. FED. R. EVID. 801(d)(2).

Point Three (10%)

The trial court erred by receiving the officer’s notes as an exhibit.

Although the officer’s notes fit the hearsay exception for recorded recollections, under this exception “[i]f admitted, the record may be read into evidence but may be received as an exhibit only if offered by an adverse party.” FED. R. EVID. 803(5). Here, the notes were used by the prosecutor and offered as an exhibit by the prosecutor, *not* by an adverse party. Therefore, it was error for the court to admit them as an exhibit.

[NOTE: The officer’s notes are not admissible under the hearsay exception for public records under Federal Rule of Evidence 803(8) because the rule specifically exempts statements by law enforcement personnel when offered in a criminal case.]

Point Four (25%)

The admission of the officer's testimony recounting the defendant's statement "I have some information that can really help you with this case" did not violate the defendant's Miranda rights because the defendant initiated communication with the officer. This testimony also is not hearsay because it is an opposing-party statement.

The trial court properly permitted the officer to testify recounting the defendant's statement "I have some information that can really help you with this case." On December 1, the officer provided the defendant with Miranda warnings and the defendant invoked his right to counsel by stating, "Get me a lawyer." After the defendant's invocation of his right to counsel, the officer was required to cease the interrogation. *Miranda*, 384 U.S. at 474. Here, the officer immediately stopped the interrogation.

However, if a custodial suspect who has invoked his right to counsel initiates post-invocation communication with the police, the suspect's subsequent statements may be admissible. *See Edwards v. Arizona*, 451 U.S. 477 (1981). Although a suspect's questions/comments "relating to routine incidents of the custodial relationship" will not be treated as initiation of communication with the police, *Oregon v. Bradshaw*, 462 U.S. 1039, 1045 (1983), statements from a suspect that clearly indicate a willingness to speak to the police about matters relating to the investigation will be treated as initiation of communication. *Id.* at 1045–1046.

Here, when the defendant said, "I want to make a deal; I think I can help you," he was clearly initiating communication with the officer. Following this initiation of communication by the defendant, the officer properly provided new Miranda warnings and obtained a waiver of rights. *Edwards*, 457 U.S. at 484–485. Admission of the defendant's subsequent statements did not violate his constitutional rights.

Finally, although the defendant's statement was made out of court because it was made by the defendant and offered by the prosecutor against the defendant, it is an opposing-party statement and not considered hearsay. FED. R. EVID. 801(d)(2).

Point Five (15%)

The admission of the officer's testimony recounting the defendant's December 20 statement "I was there on November 30 and saw the robbery, but I had nothing to do with it" did not violate the defendant's Miranda rights because, following the defendant's second invocation of his right to counsel of December 1, the defendant was released from interrogative custody for 19 days. This testimony is nonhearsay because it is an opposing-party statement.

As discussed in Point Four, on December 1 the defendant received Miranda warnings from the officer, invoked his right to counsel by saying "Get me a lawyer," initiated communication with the officer, received a fresh set of Miranda warnings, waived his rights, made a statement, and then re-invoked his right to counsel by saying, "Forget it—I want my lawyer." Following the defendant's second invocation, he was provided with counsel and released. He was not

questioned again until more than two weeks later, when he was arrested and given fresh Miranda warnings.

The Supreme Court has concluded that if a suspect has been released from interrogative custody, the police obligation to honor an invocation of the Miranda right to counsel terminates after 14 days. *Maryland v. Shatzer*, 559 U.S. 98 (2010). Although the defendant invoked his right to counsel on December 1 by saying “Forget it—I want my lawyer,” after *Shatzer*, that earlier invocation by the defendant of his right to counsel was no longer binding on the officer when she re-arrested the defendant on December 20.

On December 20, the officer properly provided the defendant with new Miranda warnings. The defendant waived his rights and made a voluntary statement to the officer. Admission of the statement into evidence did not violate the defendant’s constitutional rights. Moreover, the statement is not hearsay because it is a statement by an opposing party. FED. R. EVID. 801(d)(2).

TORTS ANALYSIS

Torts II.B., C., D.3.; III.

ANALYSIS

Legal Problems:

- (1) Can the man recover damages under tort law from the physician?
- (2)(a) When may a producer of a defective product be found liable for injuries caused by that product?
- (2)(b) Can the man recover from any of the five U.S. companies when he cannot show what company's product caused his injuries?
- (3) Can the man recover damages from the health-food store?

DISCUSSION

Summary

A doctor is liable to a patient only when the evidence shows that he has failed to comply with the standard of care for the relevant specialty and medical community, and his failure causes the patient's injury. Because liver specialists did not make the link between the herbal tea and symptoms like the man's until after being presented with a group of patients, the family physician's conduct did not fall below the standard of care either at the initial consultation or thereafter.

A producer is liable in tort for a defective product that is unreasonably dangerous and that causes the plaintiff's injury. A product that does not meet the producer's own specifications is defective; an herbal tea contaminated with toxic pesticide is unreasonably dangerous.

However, the man cannot show which of the five U.S. companies who process, package, and sell the herbal tea caused his injury because he consumed more than one brand. None of the doctrines that permit a plaintiff to meet the causation requirement without direct proof of causation are available here. Thus, because the man cannot show which company caused his injury, he cannot recover against any of the five herbal tea producers.

A retail seller is strictly liable in tort for defective products it sells even if it had no control over the production process. Thus, the health-food store may be found liable to the man because the man purchased all of the herbal tea he consumed from that health-food store, and the evidence shows that the herbal tea caused the man's injury.

Point One (25%)

A doctor is liable to a patient only when the evidence shows that the doctor has failed to comply with the standard of care for the relevant specialty and medical community and the failure caused the patient's injury. Because the facts here do not establish such a failure, the physician would not be liable for the man's injury.

A medical doctor is liable to a patient only when the evidence shows that he has failed to comply with the standard of care for the relevant specialty and medical community and his failure causes the patient's injury. In assessing whether a doctor has met this test, most courts compare the doctor's conduct to national standards rather than those that prevail in his or her locality. Because the standard requires assessment of typical doctor conduct, expert testimony is almost invariably necessary to establish a doctor's negligence. See RICHARD A. EPSTEIN, TORTS § 6.2 (1999); *Brune v. Belinkoff*, 235 N.E.2d 793 (Mass. 1968).

Here, there are two possible negligence claims against the physician. The man might argue that the physician was negligent in suggesting that drinking the herbal tea might lower his cholesterol. The man also might argue that, in his follow-up visit, the physician was negligent in failing to determine that his symptoms were due to the herbal tea if the man could establish that the delay in diagnosis worsened his medical condition. To succeed with either argument, the man would have to show that, if the physician had complied with the standard of care for general practitioners, the man would have followed a different course of action. Additionally, the man would have to show that the physician's failure to comply with the standard of care caused him harm. Based on the available evidence, it appears highly unlikely that expert testimony will be available to make such a showing.

Here, there is no indication that the physician failed to comply with the standard of care by suggesting that this type of herbal tea lowered cholesterol levels. There is no indication that the physician was aware that this type of herbal tea would be contaminated with toxic pesticides. Moreover, there is no indication that complying with the standard of care for general practitioners would have required him to be aware of such contamination. The facts establish that the physician advised the man that a prescription drug was the most reliable method of lowering cholesterol levels and told the man to come back for another test in three months. The physician only mentioned the herbal tea when the man refused a prescription drug in favor of "natural" methods and dietary change and did so because of a recent research report. Indeed, the herbal tea may have played a role in lowering the man's cholesterol.

With respect to the physician's failure to correctly diagnose the source of the man's symptoms, the facts establish that the physician responded to the man's elevated white blood cell count promptly and ordered additional tests. After these tests revealed a liver inflammation, the physician promptly referred the man to a specialist. More importantly, the facts show that even liver specialists were able to determine the link between the herbal tea and symptoms like the man's only when they had a cluster of patients with similar symptoms and discovered that all of the patients were drinking the same herbal tea.

Thus, based on the available evidence, the physician may not be found liable to the man.

Point Two(a) (20%)

The producer of goods that cause injury to a person may be liable to the injured person in tort if the seller was negligent, if the goods were defective, or if they did not satisfy the implied

warranty of merchantability. Here, the herbal tea that the man purchased was defective because it was contaminated with pesticide.

“One who sells any product in a defective condition unreasonably dangerous to the user or consumer . . . is subject to liability for physical harm thereby caused. . . .” RESTATEMENT (SECOND) OF TORTS § 402A (1965); *see also* RESTATEMENT (THIRD) OF TORTS: PRODUCTS LIABILITY § 1 (1998).

Products that fail to meet the producer’s own specifications are typically described as having a “manufacturing” defect. *See* RESTATEMENT (THIRD) OF TORTS: PRODUCTS LIABILITY § 2 (1998). In the case of food products, the presence of a harmful ingredient is generally considered a manufacturing defect “if a reasonable consumer would not expect the food product to contain that ingredient.” *Id.* § 7. The herbal tea that the man consumed falls into the manufacturing defect category even though it is not a manufactured product in the traditional sense because a reasonable consumer would expect the herbal tea to be free of contamination when processed and packaged. Given the severe harm caused to consumers by the pesticide residue, its presence clearly rendered the product unreasonably dangerous. Thus, the processor selling tea with this defect would be liable in tort for resulting injuries.

In order to recover for injuries sustained because of a manufacturing defect, a plaintiff need not show that the producer was negligent. A producer is strictly liable whenever “the product departs from its intended design even though all possible care was exercised in the preparation and marketing of the product” *Id.* § 2.

The man could also rely on the implied warranty of merchantability to establish the U.S. companies’ liability. Because the sale of the herbal tea by the producers is a sale of goods, it is governed by Article 2 of the Uniform Commercial Code. *See* UCC §§ 2-102, 2-105(1). The producers are “merchant(s)” with respect to those goods (*see* UCC § 2-104(1)), so the contract of sale included an implied warranty of merchantability. UCC § 2-314(1). (There is no evidence that this warranty was excluded or modified in any of the contracts under which those companies sold herbal tea. *See* UCC § 2-316.) To be merchantable, goods must, *inter alia*, be “fit for the ordinary purposes for which such goods are used.” UCC § 2-314(2)(c). Clearly, the contaminated herbal tea was not fit for the ordinary purpose for which the herbal tea is used. Thus, the producers breached the implied warranty of merchantability and are liable for that breach. *See* UCC §§ 2-714 – 2-715.

Under both warranty theory and strict products liability, the producers may not rely on the fact that the contamination took place before the herbal tea came into their hands to evade liability. In a warranty action, the only issue is whether the herbal tea was merchantable. How it came to be unmerchantable is irrelevant. In a strict products liability action, the issue is whether the product was defective. Thus, the man could recover against a producer of the herbal tea without proof of negligence *if* he could show that any given producer sold the product that caused his injury. *See* Point Two(b).

[NOTE #1: In some states, privity requirements may be applied to prevent the man from recovering from a seller with whom he is not in privity. However, in many states, privity rules have been relaxed or modified sufficiently to permit a remote purchaser like the man to assert an implied warranty claim against the seller of a food product.]

[NOTE #2: Some examinees might note that complete analysis of the warranty claim requires knowledge of whether the relevant contract effectively disclaimed the warranty of merchantability. However, this would not affect the tort liability claim.]

Point Two(b) (35%)

Because the man consumed several brands of the herbal tea, he cannot show which producer of the herbal tea supplied the product that caused his injury, and none of the doctrines that permit a plaintiff to meet the causation requirement without direct proof of causation are available here.

Like all tort plaintiffs, the plaintiff in a products liability action must establish that the defendant caused his injury. Had the man consumed only one brand of the herbal tea, causation might be established by showing the link between the tea's toxicity and the man's symptoms. However, the man drank the herbal tea produced by more than one producer, and he cannot link any particular defendant's product to his injury.

There are several doctrines that permit the jury to find a defendant liable when the plaintiff cannot directly meet the causation requirement. However, none of these doctrines would help the man to establish causation here.

The "market share" liability doctrine permits the jury to apportion damages based on the market shares of manufacturers of a defective product. But virtually all courts have held that this doctrine is available only if the manufacturers' defective products are fungible in relation to their capacity to cause harm. *See Sindell v. Abbott Laboratories*, 607 P.2d 924 (Cal. 1980) (market theory applied; DES drug was fungible product manufactured by several companies using identical formula); *Skipworth v. Lead Indus. Ass'n*, 690 A.2d 169, 173 (Pa. 1997) (market-share liability doctrine did not apply in lead paint case; lead paint was produced using various formulas with different amounts of lead and so differed in potential toxicity). Here, the man cannot make such a showing; what caused the man's injury was pesticide-contaminated herbal tea, and the facts specify that the contamination was not uniform. Some packages were heavily contaminated and some not at all. Thus, market-share liability is unavailable.

The "alternative liability" doctrine permits a jury to find two defendants liable when each was *negligent* and either could have caused the plaintiff's injuries. *See Summers v. Tice*, 199 P.2d 1 (Cal. 1948); RESTATEMENT (SECOND) OF TORTS § 433B(3). Here, there are five defendants, and there is no evidence that any producer was negligent.

The "joint venture" or "joint enterprise" doctrine allows the jury to impute one defendant's tortious conduct to other defendants who are engaged in a common project or enterprise and

who have made an explicit or implied agreement to engage in tortious conduct. *See* EPSTEIN, *supra*, § 9.1. Here, however, there is no evidence that the producers had any control over the warehouses in which the pesticide contamination originated, let alone that they collaborated in tortious conduct.

In sum, based on the evidence at hand, none of the producers could be held liable for the man's injury because no evidence links a particular producer to that injury and no exception to this requirement applies.

Point Three (20%)

The health-food store from which the man bought the contaminated herbal tea may be found strictly liable in tort even though the store did not produce the tea.

Strict products liability applies to all commercial sellers; even a retailer who had no control over the design and manufacture of a product may be found strictly liable if that retailer sells a defective product. Because the health-food store is a commercial seller, it may be found liable to the man for the defective herbal tea that the man purchased there. *See* RESTATEMENT (SECOND) OF TORTS § 402A.

The man could also recover on an implied warranty theory (*see* Point Two(a)) against the health-food store in all jurisdictions because he was in privity with the store.

Just as with the herbal tea producers, the man has the burden of showing causation. But the facts specify that the man purchased *all* the herbal tea he consumed from the same health-food store. The identification problem that makes causation impossible to establish with respect to the producers thus does not arise with respect to the health-food store.

Thus the health-food store may be found liable for the man's injury based on the fact that it sold a defective product that caused the man's injury. Some states have statutes that exclude strict liability in tort for retailers who sell products in closed packages.

SECURED TRANSACTIONS/REAL PROPERTY ANALYSIS

Secured Transactions II.E.; III.D.; IV.F., G.; V.A./Real Property II.C.

ANALYSIS

Legal Problems:

- (1) When the debtor is in default under a security agreement, does the secured creditor have the right to disable equipment that is part of the collateral?
- (2) When collateral becomes a fixture, what are the relative rights of a person who has a security interest in the collateral and a mortgagee of the real property to which the collateral is affixed?
- (3) Does a person who has a security interest in equipment also have a security interest in the debtor's right to be paid by a lessee who leased the equipment? If so, is the security interest perfected?

DISCUSSION

Summary

Ion Medical Systems (Ion) has a security interest in the proton-therapy equipment and may disable that equipment after PTT's default, so long as that can be done without a breach of the peace.

While Ion has a security interest in the equipment, Bank also has a claim to that equipment under the mortgage because the equipment has become a fixture. Bank's interest is superior to that of Ion because Ion did not make a fixture filing in the real estate filing office.

PTT's rights against Oncology under the lease of the proton-therapy equipment constitute proceeds of the equipment and thus are also collateral of Ion. Because Ion's security interest in the equipment is perfected, its security interest in the lease proceeds is perfected.

Point One (40%)

Because PTT defaulted under its security agreement with Ion, Ion is entitled to take possession of the equipment that is collateral for that obligation or leave the equipment at PTT's premises and render it unusable.

Ion has an enforceable security interest in the proton-therapy equipment under the criteria set forth in UCC § 9-203(b). The security interest is enforceable because (i) Ion gave value to PTT by providing credit to PTT, which PTT used to purchase the proton-therapy equipment, (ii) PTT acquired rights in the proton-therapy equipment when it purchased the equipment from Ion, and (iii) PTT authenticated (i.e., signed or its electronic equivalent) a security agreement that described the proton-therapy equipment and granted Ion a security interest in it.

Following a debtor's default, if the collateral is "equipment," a secured party may leave the equipment in place and render it unusable. UCC § 9-609(a)(2). The secured party may pursue this option "without judicial process, if it proceeds without breach of the peace." UCC § 9-609(b)(2). (Although "breach of the peace" is not defined, courts may look to, *inter alia*, public harm or loss of public order.)

"Equipment" is a defined term under Article 9 of the UCC, referring to "goods other than inventory, farm products, or consumer goods." UCC § 9-102(a)(33). The term "goods" means "all things that are movable when a security interest attaches" and also includes fixtures. UCC § 9-102(a)(44). Here, the proton-therapy equipment clearly constitutes goods, and it is not inventory, farm products, or consumer goods (as those terms are defined in UCC § 9-102), so it is "equipment."

Accordingly, because PTT has defaulted, Ion is entitled to disable the equipment if it can do so without breach of the peace. UCC § 9-609(b)(2). Here, its technician will be in the facility performing routine maintenance on the equipment and can disable it at that time. The technician will be lawfully in the facility, and there is nothing to indicate that the technician would have to engage in any violent, disruptive, or illegal behavior to prevent the equipment from being used. Without some reason to believe that there will be a breach of the peace, Ion can lawfully instruct its technician to disable the equipment.

[NOTE: Examinees may note that Ion's security interest is perfected. While analysis of perfection is necessary in order to answer Point Three, it is not necessary in order to answer this question.]

Point Two (40%)

Because the equipment has become a fixture and Ion did not make an effective "fixture filing," Bank's interest in the equipment is superior to that of Ion.

Bank has a mortgage on the land and the building in which the proton-therapy equipment is housed. The facts also state that, as a result of the installation, the equipment became a fixture. Accordingly, Bank's mortgage extends to the equipment.

Ion has a perfected security interest in the proton-therapy equipment. The security interest is enforceable under UCC § 9-203(b), and thus (in the absence of an agreement to the contrary under UCC § 9-203(a)) the security interest is attached. This is because all three elements of UCC § 9-203(b) have been satisfied: "value" has been given (the proton-therapy equipment has been delivered to PTT), PTT has rights in the proton-therapy equipment, and the signed purchase agreement qualifies as a security agreement that contains a description of the collateral. Ion's security interest is perfected under UCC §§ 9-308 and 9-310 because a financing statement properly listing the debtor and indicating the collateral was filed in the office of the State A Secretary of State. (State A is the correct state in which to file the financing statement because perfection of this security interest is governed by the law of the state in which PTT is located; in this case, PTT is located in State A because, as a corporation, PTT is a "registered organization" and, thus, is located in the state under whose laws it is organized. *See* UCC §§ 9-301, 9-307.)

[NOTE: Inasmuch as State A is the only state mentioned in this problem, examinees who do not do this conflict-of-laws analysis should nonetheless be able to receive full credit.]

A security interest in fixtures (such as that of Ion), even if perfected, is ordinarily subordinate to a conflicting interest of an “encumbrancer . . . of the related real property,” such as Bank. UCC § 9-334(c). There are, however, a number of exceptions to this rule. One exception relates to the priority of a “purchase-money security interest” in fixtures as against an encumbrancer of the related real property. (Ion has a purchase-money security interest in the equipment because the equipment secures credit given by Ion to allow PTT to buy the equipment. UCC § 9-103.) Because the security interest of Ion is a purchase-money security interest, had Ion made a “fixture filing” before the equipment became a fixture or within 20 days thereafter, the security interest of Ion would have had priority over Bank’s mortgage. UCC § 9-334(d). Ion did not make a fixture filing, though. While Ion did perfect its security interest by filing the financing statement with the Secretary of State (*see above*), that financing statement did not qualify as a “fixture filing” because a fixture filing must provide a description of the real property to which the collateral is related and must be filed in the office in which a mortgage on the related real estate would be filed, not in the state’s central filing office. UCC §§ 9-501(a)(1)(B), 9-502(b). Therefore, no exception to the general rule is applicable and the security interest of Ion in the equipment is subordinate to the interest of Bank.

Point Three (20%)

Ion has a security interest in PTT’s rights under the lease with Oncology because those rights are proceeds of its collateral. Because the security interest of Ion in the equipment was perfected by filing, its security interest in the rights to payment is perfected.

A secured party that has a security interest in collateral also has a security interest in any identifiable “proceeds” of the collateral. UCC § 9-315(a)(2). Proceeds include “whatever is acquired upon the . . . lease of collateral.” UCC § 9-102(a)(64)(A). Thus, PTT’s rights under the lease with Oncology are proceeds of the proton-therapy equipment in which it has a security interest. As a result, Ion has a security interest in PTT’s rights against Oncology under the lease. UCC § 9-315(a)(2).

Whether Ion’s security interest in the rights under the lease is perfected is important because this will determine Ion’s rights compared to those of other parties who have a claim to the rights under the lease. A security interest in proceeds of collateral is perfected for at least 20 days if the security interest in the original collateral was perfected. UCC § 9-315(c). Ion’s security interest in the proton-therapy equipment was perfected by the filing of the financing statement with the Secretary of State. (*See Point Two above.*) As a result, Ion’s security interest in the proceeds of that equipment (the rights against Oncology under the lease) is perfected for at least 20 days. The security interest will remain perfected after the 20-day period if, *inter alia*, the security interest in the original collateral was perfected by a filing in the same office in which a security interest in the proceeds could be perfected by filing (*see UCC § 9-315(d)*). Here, PTT’s rights under the lease with Oncology constitute chattel paper because the lease evidences both a monetary

obligation and a lease of specific goods. UCC § 9-102(a)(11). A security interest in chattel paper may be perfected by filing a financing statement in the Secretary of State's office in State A, the same office in which PTT filed the financing statement with respect to the equipment. *See* UCC § 9-501(a)(2) (state designates a single statewide office for filing of all security interests except certain real-estate-related interests). Thus, the security interest in the chattel paper (the proceeds) is perfected not only for the first 20 days but thereafter as well.

CONTRACTS ANALYSIS

Contracts I.A., A.4.; VI.

ANALYSIS

Legal Problems:

- (1) May a contractual right to the performance of services be assigned without the obligor's consent, giving the assignee the right to enforce the contract, when the assignment would not change the obligor's duty in any material respect?
- (2) If the obligor does not perform, may a third party who would have benefitted from performance enforce the contract?
- (3) If the obligor performs the services for the assignee pursuant to the assigned contract, is the assignee liable for payment? Is the assignor liable for payment?

DISCUSSION

Summary

The homeowner's rights against the painter can be assigned to the neighbor because the substitution of neighbor for homeowner will not materially change the painter's duty or increase the painter's burden. Because those rights have been assigned, the neighbor can enforce them against the painter. The retiree cannot enforce those rights because he is not a party to the contract (either initially or by assignment) and does not qualify as a third-party beneficiary of it. The assignment of rights to the neighbor does not relieve the homeowner of his payment obligation; if the painter paints the neighbor's house and the neighbor does not pay the painter, the painter will have causes of action against both homeowner and neighbor.

Point One (45%)

The homeowner's rights against the painter are assignable because the substitution of neighbor for homeowner does not materially change the painter's duty or materially increase the burden imposed on the painter, and would not materially increase the painter's risk or chance of obtaining return performance, or materially reduce the value of the contract to him.

While contract rights are generally assignable, a contract is not assignable if the assignment (i) would materially change the duty of the obligor (here, the painter), (ii) would materially increase the burden or risk imposed on the obligor, (iii) would materially impair the obligor's chance of obtaining return performance or materially reduce the value of that return performance to the obligor, (iv) is forbidden by statute or precluded by public policy, or (v) is validly precluded by contract. RESTATEMENT (SECOND) OF CONTRACTS § 317(2). In this case, there is no indication of a statute or public policy that would forbid or preclude the assignment, and no contractual provision prohibiting assignment. Thus, the only questions are whether the assignment would materially change the duty of the painter or increase the burden imposed on the painter, and

whether the assignment would materially impair the painter's chance of obtaining return performance or materially reduce the value of that return performance to the painter.

Under these facts, which specify that there is no difference in magnitude or difficulty between the work required to paint the homeowner's house and the work required to paint the neighbor's house, the assignment from the homeowner to the neighbor does not materially increase the painter's duty or risk. The facts specify that the exterior of the neighbor's house is identical to the exterior of the homeowner's house, that both are peeling, and that the labor to paint each house would be comparable in magnitude and difficulty. Moreover, the neighbor's house is next door to the homeowner's house, so no additional travel burden would be placed on the painter by painting the neighbor's house rather than the homeowner's house. Thus, a court would likely conclude that the assignment from the homeowner to the neighbor would neither materially change the painter's duty nor materially increase the burden imposed on the painter.

There is no indication under these facts that the assignment would materially impair the painter's chance of obtaining return performance (the agreed \$6,000 payment), or materially reduce the value of the contract to the painter. *Id.* § 317(2)(a). None of these factors is present here, particularly in light of the fact that the assignor (here, the homeowner) remains liable to pay the painter if the painter fulfills his obligation and the assignee (here, the neighbor) will be liable as well. (*See* Point Four below.)

All that is generally necessary for an effective assignment is (a) that the assignor manifest his or her intent to transfer the right to the assignee, without reserving any right to confirm or nullify the transfer (RESTATEMENT (SECOND) OF CONTRACTS § 324), and (b) that the assignee manifest assent to the assignment. *Id.* § 327(1). Here, both conditions are satisfied by the conversation between the homeowner and the neighbor. No action or manifestation of assent is required from the obligor. No particular form is required for the assignment. With minor exceptions not relevant here, the relevant manifestations of assent may be made either orally or in writing. *Id.* § 324.

If the painter does not paint the neighbor's house, the neighbor has a cause of action against the painter. *Id.* § 317(1) (by virtue of the assignment, "the assignor's right to performance by the obligor is extinguished . . . and the assignee acquires a right to such performance").

[NOTE: Some examinees might argue against assignability of the contract because there are inevitable differences between the paint jobs, such as the relative ease of dealing with the homeowners. If well-reasoned, such analysis should receive credit.]

Point Two (20%)

The retiree is neither an assignee of the contract nor a third-party beneficiary of the painter's promise; accordingly, the retiree cannot enforce the painter's obligations.

The retiree has no cause of action for the painter's breach. The homeowner's rights under the contract have been assigned to the neighbor, not to the retiree; therefore, the retiree may not enforce the contract as an assignee.

Moreover, the retiree does not qualify as a third-party beneficiary who can enforce the contract. While the retiree would benefit from the painter's performance of his obligations, not all who benefit from performance of a promise may enforce it. Rather, contract law distinguishes between "incidental" beneficiaries and "intended" beneficiaries, and only the latter can enforce a promise of which he or she is not the promisee. The retiree is not an intended beneficiary inasmuch as there is no indication that benefitting him was in the contemplation of any of the parties when the contract was entered into. *See* RESTATEMENT (SECOND) OF CONTRACTS § 302 and comment *e* and Illustration 16.

Point Three (35%)

The painter's right to be paid for the completed paint job is enforceable against the delegatee (the neighbor) and also against the original/delegator (the homeowner).

The transaction between the homeowner and the neighbor is not only an assignment to the neighbor of the homeowner's rights against the painter, but also a delegation to the neighbor of the homeowner's obligation to the painter. This is shown by the fact that the neighbor assented to the homeowner's idea of the neighbor paying the painter. *See also* RESTATEMENT (SECOND) OF CONTRACTS § 328(1) (assignment in general terms includes "a delegation of [the assignor's] unperformed duties under the contract"). As a result, if the painter completes the paint job and is not paid in accordance with the terms of the contract, then he has a cause of action against the neighbor, even though the neighbor was not a party to the original contract.

The homeowner's delegation to the neighbor of the duty to pay the painter does not, however, relieve the homeowner of that payment responsibility in the absence of the painter's agreement to the discharge of the homeowner. *See id.* § 318(3). As a result, if the painter is not paid in accordance with the terms of the contract, then the painter retains a cause of action against the homeowner as well.

CIVIL PROCEDURE ANALYSIS

Civil Procedure I.A., B., D.

ANALYSIS

Legal Problems:

- (1) May the U.S. District Court for the District of State C exercise personal jurisdiction based on personal service on the man while he was temporarily in State C?
- (2)(a) Does the U.S. District Court for the District of State C have subject-matter jurisdiction over the woman's Safety Act claim?
- (2)(b) Does the U.S. District Court for the District of State C have subject-matter jurisdiction over the woman's state-law negligence claim?
- (3) Is venue proper in the U.S. District Court for the District of State C?

DISCUSSION

Summary

Personal service of process on an individual who is voluntarily physically present in a state is sufficient to give the courts of the state (including federal courts located in the state) jurisdiction over that individual. In this case, there are no facts that would warrant a departure from the ordinary rule allowing a court to exercise such "transient jurisdiction." Accordingly, the court has personal jurisdiction over the man.

The U.S. District Court for the District of State C possesses federal-question jurisdiction over the woman's Safety Act claim and supplemental jurisdiction over the woman's negligence claim.

However, the District of State C is not an appropriate venue for the woman's suit. The man does not reside there, and the events giving rise to the woman's claims occurred in State A. The fact that the woman received medical treatment and may have experienced pain and suffering in State C is not a sufficient basis for venue when the acts causing injury occurred elsewhere. The man's motion to dismiss for improper venue should be granted.

Point One (25%)

Personal service of process on the man while he was voluntarily present in State C is sufficient to warrant the U.S. District Court's exercise of personal jurisdiction over the man.

Federal Rule of Civil Procedure 4(k)(1)(A) provides that a federal court can take personal jurisdiction over a defendant "who is subject to the jurisdiction of a court of general jurisdiction in the state where the district court is located." Thus, the U.S. District Court's jurisdiction over the man in this action depends on whether the state courts of State C would take jurisdiction over the man under the circumstances of the case. The facts of the problem indicate that State C courts generally will take jurisdiction over a defendant whenever the U.S. Constitution permits them to do so.

Here, the man was personally served with process while he was voluntarily present in State C. In *Burnham v. Superior Court of California*, 495 U.S. 604 (1990), a unanimous Supreme Court held that a court’s exercise of such “transient jurisdiction,” i.e., jurisdiction based on physical presence alone, is generally consistent with due process. A plurality concluded that transient jurisdiction is constitutional simply “because it is one of the continuing traditions of our legal system that define the due process standard” *Id.* at 619 (opinion of Justice Scalia for four members of the Court). Although five members of the Court believed that tradition alone did not warrant upholding the constitutionality of transient jurisdiction, they did all agree at least that “the Due Process Clause of the Fourteenth Amendment generally permits a state court to exercise jurisdiction over a defendant if he is served with process while voluntarily present in the forum State.” *Id.* at 629 (concurring opinion of Justice Brennan).

Here, as in *Burnham*, the man was physically present in State C when he was served with process, and his presence in State C was voluntary. Furthermore, given that transient jurisdiction has long been the rule in American courts, the man was on notice that his presence within State C could, upon service, subject him to personal jurisdiction. Moreover, by traveling to State C, the man availed himself of various benefits provided by State C, such as the benefits of “police, fire, and emergency medical” protection; access to the state’s transportation system; and “fruits of the State’s economy.” *See id.* at 637–38. At the same time, the burden on the man of defending the suit in neighboring State C is insubstantial in light of modern communication and transportation and the man’s demonstrated ability to travel to State C.

Thus, the man’s motion to dismiss for lack of personal jurisdiction should be denied.

[NOTE: Although no facts suggest that the Federal Gun Safety Act has special rules related to service of process and personal jurisdiction, some examinees may mention that possibility.]

Point Two(a) (15%)

The U.S. District Court has federal-question jurisdiction over the woman’s Safety Act claim.

Under 28 U.S.C. § 1331, district courts may exercise subject-matter jurisdiction over “all civil actions arising under the Constitution, laws, or treaties of the United States.” As a general rule, causes of action that are created by federal law qualify for federal-question jurisdiction while those created by state law do not. *See Louisville & Nashville R. Co. v. Mottley*, 211 U.S. 149 (1908). In this case, the allegations of the woman’s well-pleaded complaint state a Safety Act claim that is created by federal law. As a result, federal-question jurisdiction exists over the woman’s Safety Act claim.

Point Two(b) (35%)

The U.S. District Court does not have diversity jurisdiction over the state-law negligence claim, but it may nonetheless hear the claim pursuant to its supplemental jurisdiction.

As noted above, the U.S. District Court for the District of State C does not have federal-question jurisdiction over the woman’s state-law negligence claim. The court also lacks diversity

jurisdiction over that claim because the woman and the man are not citizens of different states. *See* 28 U.S.C. § 1332. State citizenship for individual U.S. citizens is determined by their domicile: the true, fixed, permanent home to which the individual intends to return when absent. *See, e.g., Mas v. Perry*, 489 F.2d 1396, 1399–1400 (5th Cir. 1974). The facts make clear that the woman and the man are both domiciled in (and therefore citizens of) State A, where they have lived their entire lives, and where they both currently live. While the woman was convalescing in a hospital in State C when the suit was brought, the woman exhibited no intent to change domicile, and she returned to State A upon her release from the hospital. Because both parties are State A citizens, the fundamental requirement for diversity jurisdiction is not met.

However, under 28 U.S.C. § 1367, a district court may exercise supplemental jurisdiction over claims that form part of the same “case or controversy under Article III” as claims over which the district court has original jurisdiction. It is generally understood that claims are part of the same case or controversy if they arise from a common nucleus of operative facts. *See United Mine Workers of America v. Gibbs*, 383 U.S. 715, 725 (1966).

Here, the woman’s Safety Act and negligence claims arise from a common nucleus of operative facts: the man’s disabling of his gun’s safety features and the resulting accidental shooting of the woman. As a result, the U.S. District Court possesses supplemental jurisdiction over the woman’s state-law negligence claim.

Although a court has power to exercise supplemental jurisdiction, it need not do so in all cases. Under § 1367(c), a “district court[] may decline to exercise supplemental jurisdiction” under certain conditions, including when “the claim [over which the court has only supplemental jurisdiction] substantially predominates over the claim . . . over which the district court has original jurisdiction.”

Here, one might argue that the woman’s negligence claim substantially predominates over the federal-question claim because the damages sought on the woman’s negligence claim are larger than the damages sought on the woman’s federal claim. *See, e.g., Rivera Flores v. P.R. Tel. Co.*, 776 F. Supp. 61, 71–72 (D.P.R. 1991) (declining supplemental jurisdiction when non-federal claims seek \$6 million in damages and federal claim seeks only injunctive relief and back pay). Nonetheless, the U.S. District Court is unlikely to dismiss the negligence claim given the factual and evidentiary overlap in the two claims and the resulting efficiency of resolving them together. *See Gard v. Teletronics Pacing Sys., Inc.*, 859 F. Supp. 1349 (D. Col. 1994) (where facts needed to prove each claim are similar or identical, it cannot be said that state claims predominate); *Borough of West Mifflin v. Lancaster*, 45 F.3d 780 (3rd Cir. 1995) (where state-law negligence claim is based on same facts as federal claim, “it will be the rare case” where the state issues will substantially predominate).

In short, the U.S. District Court has federal-question jurisdiction over the woman’s Safety Act claim and possesses supplemental jurisdiction over the woman’s state-law negligence claim. As a result, the man’s motion to dismiss for lack of subject-matter jurisdiction should be denied.

Point Three (25%)

Venue is not appropriate in the U.S. District Court for the District of State C because the man does not reside in State C, the events giving rise to the woman's claims did not occur there, and there is another district (in State A) where venue would have been proper.

28 U.S.C. § 1391(b) governs venue in this action. Under § 1391(b), venue is appropriate “in (1) a judicial district in which any defendant resides, if all defendants are residents of the State in which the district is located, (2) a judicial district in which a substantial part of the events or omissions giving rise to the claim occurred, . . . or (3) if there is no district in which an action may otherwise be brought . . . , any judicial district in which any defendant is subject to the court's personal jurisdiction with respect to such action.”

The man does not reside in the district of State C, so venue cannot be based on § 1391(b)(1).

State C also does not qualify as an appropriate venue pursuant to § 1391(b)(2) because it is not “a judicial district in which a substantial part of the events or omissions giving rise to the claim occurred.” Here, the events giving rise to the woman's claims were the disabling of the gun's safety features and the accidental shooting—both of which occurred in State A. One might argue that a substantial part of the events giving rise to the claim occurred in State C because the woman received medical treatment there and, as a result, it was in State C that the woman experienced much of the harm (physical suffering and medical expenses) for which she seeks to recover damages. *See, e.g.*, 14D CHARLES A. WRIGHT, ARTHUR R. MILLER, EDWARD H. COOPER, AND RICHARD D. FREER, FEDERAL PRACTICE & PROCEDURE § 3806 (4th ed. 2013) (in tort cases, place where harms were felt could be considered place where “substantial part of the events or omissions occurred”). However, most courts that have considered this statutory language in the context of personal injury torts have concluded that venue is proper in the district where the defendant's tortious acts occurred, but not in a district that is connected to the incident only because the plaintiff received medical treatment there. *See, e.g.*, *Wisland v. Admiral Beverage Corp.*, 119 F.3d 733, 736 (8th Cir. 1997) (venue is proper where alleged tortious acts occurred, not where medical treatment for injuries was received); *Bryan v. Hyatt Corp.*, 2008 WL 205246 (E.D. Mich. 2008) (same); *Arriaga v. Imperial Palace, Inc.*, 252 F. Supp. 2d 380, 387–88 (S.D. Tex. 2003) (same); *Smith v. Fortenberry*, 903 F. Supp. 1018, 1020 (E.D. La. 1995) (same).

Nor would venue be appropriate in State C on the § 1391(b)(3) grounds that the man was found there at the time of service. Although the man was in State C at the time of service, § 1391(b)(3) is a backup provision that applies only when no other district qualifies as an appropriate venue. Here, the man resides in State A and the acts giving rise to the cause of action occurred there. Accordingly, a relevant district in that state would qualify as an appropriate venue under either § 1391(b)(1) or § 1391(b)(2). So § 1391(b)(3) is inapplicable.

Thus, the man's motion to dismiss for improper venue should be granted.



February 2017 MEE Questions and Analyses

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the February 2017 MEE. (In the actual test, the questions are simply numbered rather than being identified by area of law.) The instructions for the test appear on page iii.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, identified by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Agency question on the February 2017 MEE tested the following areas from the Agency outline: II.A.,B. Power of agent to bind principal—Authority; Apparent authority.

For more information about the MEE, including subject matter outlines, visit the NCBE website at www.ncbex.org.

Description of the MEE

The MEE consists of six 30-minute questions and is a component of the Uniform Bar Examination (UBE). It is administered by user jurisdictions as part of the bar examination on the Tuesday before the last Wednesday in February and July of each year. Areas of law that may be covered on the MEE include the following: Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Civil Procedure, Conflict of Laws, Constitutional Law, Contracts (including Article 2 [Sales] of the Uniform Commercial Code), Criminal Law and Procedure, Evidence, Family Law, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Article 9 (Secured Transactions) of the Uniform Commercial Code. Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusions. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Answer all questions according to generally accepted fundamental legal principles unless your testing jurisdiction has instructed you to answer according to local case or statutory law.

NOTE: Examinees testing in UBE jurisdictions must answer according to generally accepted fundamental legal principles rather than local case or statutory law.

February 2017 MEE Questions

Contracts

Trusts & Future Interests

Family Law/Conflict of Laws

Corporations

Agency

Real Property

CONTRACTS QUESTION

On June 15, a professional cook had a conversation with her neighbor, an amateur gardener with no business experience who grew tomatoes for home use and to give to relatives. During the conversation, the cook mentioned that she might be interested in “branching out into making salsa” and that, if she did branch out, she would need to buy large quantities of tomatoes. Although the gardener had never sold tomatoes before, he told the cook that, if she wanted to buy tomatoes for salsa, he would be willing to sell her all the tomatoes he grew in his half-acre home garden that summer for \$25 per bushel.

Later on June 15, shortly after this conversation, the cook said to the gardener, “I’m very interested in the possibility of buying tomatoes from you.” She then handed a document to the gardener and asked him to sign it. The document stated, “I offer to sell to [the cook] all the tomatoes I grow in my home garden this summer for \$25 per bushel. I will hold this offer open for 14 days.”

The gardener signed the document and handed it back to the cook.

On June 19, the proprietor of a farmers’ market offered to buy all the tomatoes that the gardener grew in his home garden that summer for \$35 per bushel. The gardener, happy about the chance to make more money, agreed, and the parties entered into a contract for the gardener to sell his tomatoes to the proprietor.

On June 24, the cook, who had not communicated with the gardener since the June 15 conversation, called the gardener. As soon as the cook identified herself, the gardener said, “I hope you are not calling to say that you want my tomatoes. I can’t sell them to you because I have sold them to someone else.” The cook replied, “You can’t do that. I called to accept your offer to sell me all your tomatoes for \$25 per bushel. You promised to hold that offer open for 14 days. I accept your offer!”

Is the gardener bound to sell the cook all the tomatoes he grows that summer for \$25 per bushel? Explain.

TRUSTS & FUTURE INTERESTS QUESTION

Forty years ago, Settlor, a successful businesswoman, married a less-than-successful writer. Settlor and her husband had two children, a son and a daughter.

Two years ago, Settlor transferred most of her wealth into a revocable trust. Under the terms of the trust instrument, a local bank was designated as trustee, and the trustee was directed to distribute all trust income to Settlor during her lifetime. The trust instrument further provided that “upon Settlor’s death, the trustee will distribute trust principal to one or more of Settlor’s children as Settlor shall appoint by her duly probated last will or, in the absence of such appointment, to Charity.” The trust instrument also stated that Settlor’s power of revocation was exercisable only “during Settlor’s lifetime and by a written instrument.”

Following the creation of the trust, Settlor gave written direction to the trustee to accumulate trust income instead of distributing the income to Settlor as specified in the trust instrument. The trustee did so.

Six months ago, Settlor executed a valid will. The will, exercising the power of appointment created under Settlor’s revocable trust, directed the trustee of Settlor’s trust, upon Settlor’s death,

- (1) to distribute half of the trust assets to Settlor’s daughter,
- (2) to hold the other half of the trust assets in continuing trust and pay income to Settlor’s son during the son’s lifetime, and
- (3) upon the son’s death, to distribute the trust principal in equal shares to the son’s surviving children (grandchildren of Settlor).

Settlor also bequeathed \$50,000 “to my descendants, other than my children, in equal shares,” and she left the residue of her estate to her husband, whom she also named as the executor of her estate.

Two months ago, Settlor died. At Settlor’s death, the trust assets were worth \$500,000 and Settlor’s probate assets were worth \$100,000. Settlor was survived by her husband, her daughter, her son, and her son’s child (Settlor’s grandchild, age 18).

A statute in this jurisdiction provides that a decedent’s surviving spouse is entitled to a “one-third elective share of the decedent’s probate estate.” There are no other relevant statutes.

1. Was it proper for the trustee to accumulate trust income during Settlor’s lifetime? Explain.
2. Under Settlor’s will and the trust instrument, what, if any, is Charity’s interest in the trust assets? Explain.
3. Does Settlor’s husband have a valid claim to any trust or probate assets? Explain.

FAMILY LAW/CONFLICT OF LAWS QUESTION

In 2005, Andrew and Brenda began living together in State A while both were attending college there. Andrew proposed marriage to Brenda, but she refused. However, after learning that she was pregnant, Brenda told Andrew that she wanted to marry him before the baby was born. Andrew was thrilled and told her that they were already married “in the eyes of God.” Brenda agreed.

Andrew and Brenda did not obtain a marriage license or have a formal wedding. Nonetheless, Brenda started using Andrew’s last name even before their daughter, Chloe, was born. After Andrew graduated from college and started a new job, he listed Brenda as his spouse so that she could qualify for benefits through Andrew’s employer. They also filed joint income tax returns.

In March 2007, just after Chloe’s first birthday, Andrew and Brenda decided to separate. They had little property to divide and readily agreed to its disposition. Andrew agreed that Brenda should have sole custody of Chloe, and Brenda, desiring the cleanest break possible, agreed that Andrew would not be responsible for any child support. Andrew told Brenda that no formal divorce was necessary because they had never formally married.

In June 2007, Brenda and Chloe moved to start a new life in State B. Andrew sent Chloe an occasional card or birthday gift, but otherwise maintained no contact with Chloe or Brenda. Not long after settling in State B, Brenda met and fell in love with Daniel.

In 2008, Brenda and Daniel obtained a State B marriage license and wed. Thereafter, Daniel formed a close and loving bond with Chloe. Indeed, with only very infrequent contact from Andrew, Chloe regarded Daniel as her father and called him “Dad.”

In January 2017, Brenda purchased a lottery ticket. The ticket won a jackpot of \$5 million, which was paid that month. Shortly thereafter, Brenda informed Daniel that she wanted a divorce and that she intended to use her lottery winnings to launch a new life with Chloe in a distant state and break off all contact with Daniel. When Chloe learned about this, she became very upset because she continues to regard Daniel as her father.

State A recognizes common law marriage. State B formerly allowed common law marriage until a statute, enacted in 2001, prospectively barred the creation of new common law marriages within the state. Neither State A nor State B is a community-property state.

1. On what basis, if any, would Andrew have a claim to a share of Brenda’s lottery winnings? Explain.
2. Assuming that Andrew and Brenda have a valid marriage, on what basis, if any, would Daniel have a claim to a share of Brenda’s lottery winnings? Explain.
3. If Brenda cuts off all contact between Chloe and Daniel, can Daniel obtain court-ordered visitation with Chloe? Explain.

CORPORATIONS QUESTION

A shareholder owns 100 shares of MEGA Inc., a publicly traded corporation. MEGA is incorporated in State A, which has adopted the Model Business Corporation Act (MBCA).

The shareholder read a news story in a leading financial newspaper reporting that MEGA had entered into agreements to open new factories in Country X. According to the story, MEGA had paid large bribes to Country X government officials to seal the deals. If made, these bribes would be illegal under U.S. law, exposing MEGA to significant civil and criminal penalties.

On May 1, the shareholder sent a letter to MEGA asking to inspect the minutes of meetings of MEGA's board of directors relating to the Country X factories mentioned in the news story, along with any accounting records not publicly available relevant to the alleged foreign bribes. The shareholder explained that she was seeking the information to decide whether to sue MEGA's directors for permitting such possible illegal conduct.

In her letter, the shareholder also demanded that the MEGA board investigate the possible illegal bribes described in the news story and take corrective measures if any illegality had occurred.

On June 1, MEGA responded to the shareholder in a letter, which stated in relevant part:

The corporation will not give you access to any corporate documents or take any action regarding the matters raised in your letter. We cannot satisfy the whim of every MEGA shareholder based on unsubstantiated news stories. Furthermore, given our continuing operations in Country X, the board of directors will not investigate or take any other action regarding the matters raised in your letter because doing so would not be in the best interest of the corporation.

On October 1, the shareholder filed a lawsuit in a State A court. Her petition includes (1) a claim against MEGA seeking inspection of the documents previously requested and (2) a derivative claim against all of the MEGA directors alleging a breach of their fiduciary duties for failing to investigate and take action concerning the alleged foreign bribes.

MEGA's board has asked the corporation's general counsel the following questions:

- (1) Is the shareholder entitled to inspect the documents she requested?
- (2) May the board obtain dismissal of the shareholder's derivative claim if the board concludes that it is not in the corporation's best interest to continue the lawsuit, even though the board has not investigated the allegations of illegal foreign bribes?
- (3) Is the board's decision not to investigate or take further action with respect to alleged illegal foreign bribes consistent with the directors' duty to act in good faith, and is that decision protected by the business judgment rule?

How should the general counsel answer these questions? Explain.

AGENCY QUESTION

An inventor retained a woman to act as his agent to purchase 25 computer chips, 25 blue lenses, and 25 lawn mower shutoff switches. The inventor told her to purchase only:

- Series A computer chips,
- blue lenses that cost no more than \$300 each, and
- shutoff switches that could shut down a lawn mower in less than one second after the mower hits a foreign object.

The woman contacted a chip manufacturer to purchase the Series A computer chips. She told the manufacturer that she was the inventor's agent and that she wanted to purchase 25 Series A computer chips on his behalf. The manufacturer told her that the Series A chips cost \$800 each but that she could buy Series B chips, with functionality similar to that of the Series A chips, for only \$90 each. Without discussing this with the inventor, the woman agreed to purchase 25 Series B chips, signing the contract with the chip manufacturer "as agent" of the inventor. The Series B chips were shipped to her, but when she then took them to the inventor and explained what a great deal she had gotten, the inventor refused to accept them. He has also refused to pay the manufacturer for them.

The woman also contacted a lens manufacturer for the purchase of the blue lenses. She signed a contract in her name alone for the purchase of 25 blue lenses at \$295 per lens. She did not tell the lens manufacturer that she was acting as anyone's agent. The lenses were shipped to her, but when she took them to the inventor, he refused to accept them because he had decided that it would be better to use red lenses. The inventor has refused to pay for the blue lenses.

The woman also contacted a switch manufacturer to purchase shutoff switches. She signed a contract in her name alone for switches that would shut down a lawn mower in less than five seconds, a substantially slower reaction time than the inventor had specified to her. When she signed the contract, she told the manufacturer that she was acting as someone's agent but did not disclose the identity of her principal. The switches were shipped to her. Although the inventor recognized that the switches were not what the woman had been told to buy, he nonetheless used them to build lawn mowers, but now refuses to pay the manufacturer for them.

All elements of contract formation and enforceability are satisfied with respect to each contract.

1. Who is liable to the chip manufacturer: the inventor, the woman, or both? Explain.
2. Who is liable to the blue-lens manufacturer: the inventor, the woman, or both? Explain.
3. Who is liable to the shutoff-switch manufacturer: the inventor, the woman, or both? Explain.

REAL PROPERTY QUESTION

On January 1, 2015, a landlord who owned a multi-unit apartment building consisting only of one-bedroom apartments leased an apartment in the building to a tenant for a two-year term ending on December 31, 2016, at a monthly rent of \$2,000. The tenant immediately took possession of the apartment.

The lease contained the following provision:

Tenant shall not assign this lease without the Landlord's written consent. An assignment without such consent shall be void and, at the option of the Landlord, the Landlord may terminate the lease.

On May 1, 2015, the tenant learned that her employer was transferring her to a job overseas to begin on August 1, 2015. On May 2, the tenant emailed the landlord that she needed to vacate the apartment on August 1, but that she had found a well-to-do and well-respected lawyer in the community who was willing to take over the balance of the lease term at the same rent. The landlord immediately emailed the tenant that he would not consent to the lawyer taking over the lease. He wrote, "I don't rent to lawyers because I've learned from personal experiences with them as tenants that they argue about everything, make unreasonable demands, and make my life miserable. Find somebody else."

On July 25, 2015, the tenant vacated the apartment and removed all her personal property from it. She left the apartment keys in an envelope in the landlord's mail slot. The envelope also contained a note in which the tenant wrote, "As you know, I am moving overseas and won't be back before my lease ends. So here are the keys. I won't pay you any rent from August 1 on."

On July 26, 2015, the landlord sent the tenant an email acknowledging that he had found the keys and the note. In that email, the landlord wrote: "Although this is a problem you created, I want to be a nice guy and help you out. I feel pretty confident that I can find a suitable tenant who is not a lawyer to rent your apartment."

As of August 1, 2015, the landlord had four apartments, including the tenant's apartment, for rent in the building. The landlord put an "Apartments for Rent" sign in front of the apartment building and placed advertisements in the newspaper and on a website listing all the apartments for rent. However, because of a recent precipitous decline in the local residential rental property market, the landlord listed the apartments for a monthly rent of \$1,000. The landlord showed all four vacant apartments, including the tenant's apartment, to each prospective tenant.

By September 1, 2015, the landlord was able to rent only two of the apartments at \$1,000. The landlord was unable to rent the two remaining apartments, including the tenant's, at any price throughout the rest of 2015 and all of 2016, notwithstanding his continued efforts to rent them.

On January 2, 2017, the landlord sued the tenant to recover 17 months of unpaid rent, covering the period August 1, 2015, through December 31, 2016.

Identify and evaluate the arguments available to the landlord and the tenant regarding the landlord's claim to 17 months of unpaid rent.

February 2017 MEE Analyses

Contracts

Trusts & Future Interests

Family Law/Conflict of Laws

Corporations

Agency

Real Property

CONTRACTS ANALYSIS

CTR I.A.1.; B.1.

ANALYSIS

Legal Problems:

- (1) What body of contract law governs the dealings between the gardener and the cook?
- (2) Was the gardener entitled to revoke his offer before the cook accepted it?
- (3) Did the gardener revoke that offer before the cook accepted it, thereby preventing the formation of a contract?

DISCUSSION

Summary

Because tomatoes are “goods,” the gardener-cook transaction is within the scope of Article 2 of the Uniform Commercial Code (UCC), although common law principles remain applicable to the extent that they are not displaced by the UCC. The gardener made an offer to the cook to sell the cook his tomatoes for \$25 per bushel and promised to hold that offer open for 14 days. That promise was not supported by consideration, however, and it is not binding on the gardener because no exception in the UCC overrides the requirement of consideration in order to make such a promise binding. The gardener revoked that offer before the cook accepted it when he informed the cook that he had sold his tomatoes to the proprietor of the farmers’ market before the cook told the gardener that she accepted the offer. Thus, the gardener’s revocation is effective and the gardener is not bound to sell the tomatoes to the cook.

Point One (10%)

Tomatoes are “goods,” and, therefore, the transaction between the cook and the gardener is governed by Article 2 of the UCC. Further, the document signed by the gardener was an “offer” for a contract under the UCC.

UCC Article 2 governs “transactions in goods.” UCC § 2-102. The term “goods” includes, among other things, growing crops (such as tomatoes). UCC § 2-105(1). Thus, the transaction in question is a transaction in goods that is governed by Article 2 of the UCC. Common law principles remain applicable, though, to the extent not displaced by the UCC. UCC § 1-103(b).

The document signed by the gardener, which was capable of being accepted, constituted an “offer” for a contract under UCC § 2-206. *See also Restatement (Second) of Contracts § 24.*

Point Two (60%)

Generally, an offer to buy or sell goods may be revoked at any time before acceptance unless the offeror promised to hold the offer open and that promise is supported by consideration, or revocation of the offer is barred by UCC § 2-205.

Contracts Analysis

A person makes an offer when the person communicates to another a statement of “willingness to enter into a bargain, so made as to justify” the other person “in understanding that his assent to that bargain is invited and will conclude it.” *Restatement (Second) of Contracts* § 24; *Nordyne, Inc. v. Int’l Controls & Measurements Corp.*, 262 F.3d 843 (8th Cir. 2001). Here, the gardener’s statement in the document that he signed was an offer because it expressed the gardener’s willingness to enter into a bargain in a way that justified the cook in understanding that assent would create a contract.

Under the common law of contracts, an offer may be revoked by the offeror at any time before acceptance unless an option contract is created limiting the power of revocation. *Restatement (Second) of Contracts* §§ 25, 87. No option contract is created here because there was no consideration for the gardener’s promise to keep the offer open, and there was no writing reciting a purported consideration. *Id.* § 25, cmt. c, and § 87(1)(a). As a result, the promise to hold the offer open is not enforceable under the general rule requiring consideration for such a promise.

As the Restatement notes, a promise to hold an offer open may also be made binding by statute. *Id.* § 87(1)(b). Because the tomatoes constitute goods, Article 2 of the Uniform Commercial Code is the relevant statute. In some circumstances, the “firm offer” rule in UCC § 2-205 makes a promise to hold open an offer to buy or sell goods binding even in the absence of consideration. UCC § 2-205 does not apply in this situation, however, because it applies only to an offer by a “merchant.” The term “merchant” is defined in UCC § 2-104(1) as “a person who deals in goods of the kind or otherwise by his occupation holds himself out as having knowledge or skill peculiar to the practices or goods involved in the transaction . . .” Here, the gardener is an amateur gardener with no business experience who has never sold tomatoes. Under these facts, the gardener is not a merchant. As a result, UCC § 2-205 does not make the gardener’s promise to hold the offer open binding in the absence of consideration.

In some cases, “an offer which the offeror should reasonably expect to induce action or forbearance of a substantial character on the part of the offeree before acceptance and which does induce such action or forbearance is binding as an option contract.” *Restatement (Second) of Contracts* § 87(2). There is nothing in these facts, however, that would justify application of this rule.

In sum, the gardener was not bound by his promise to hold the offer open for 14 days and could revoke it at any time.

[NOTE: Even if the gardener were a merchant, UCC § 2-205 would not prevent revocation of this offer. This is because the promise to hold the offer open was on a form supplied by the cook (the offeree) and UCC § 2-205 requires that, when the term of assurance is on a form supplied by the offeree, that term of assurance must be “separately signed” by the offeror. There is no indication that the promise to hold the offer open was separately signed by the gardener (such as by placing his initials next to that sentence).]

[NOTE: Nonetheless, an examinee should receive credit if he or she concludes that the gardener had become a merchant by virtue of the sale of all of his tomato crop and then goes on to discuss the gardener's liability to the cook under a theory of promissory estoppel.]

Point Three (30%)

The gardener revoked his offer to sell all his tomatoes to the cook for \$25 per bushel when he told her that he could not sell the tomatoes to her because he had sold them to someone else before the cook told him that she accepted his offer.

An offer is revoked when the offeree "receives from the offeror a manifestation of an intention not to enter into the proposed contract." *Restatement (Second) of Contracts* § 42; *Normile v. Miller*, 326 S.E.2d 11 (N.C. 1985) ("notice of the offeror's revocation must be communicated to the offeree to effectively terminate the offeree's power to accept the offer"). Here, the gardener told the cook that he could not sell her tomatoes because he had sold them to the proprietor of the farmers' market. The gardener's statement is a clear manifestation of an intention not to enter into the proposed contract and is a revocation of the gardener's offer to sell his tomatoes to the cook. The revocation occurred before the cook accepted the gardener's offer. Thus, the cook's power to accept the offer and create the contract was terminated before her acceptance and there is no contract between them with respect to the tomatoes. *See Restatement (Second) of Contracts* § 36(1)(c).

TRUSTS AND FUTURE INTERESTS ANALYSIS

TRU I.C.1., G., I.5.; II.D.

ANALYSIS

Legal Problems:

- (1) Can the trustee of a revocable trust, who is required by the terms of the trust instrument to pay all trust income to the settlor, accumulate income upon the settlor's written direction?
- (2)(a) Can the holder of a testamentary power of appointment exercisable in favor of the holder's children exercise the power by appointing trust assets to the holder's grandchildren?
- (2)(b) Who takes trust assets that have been impermissibly appointed?
- (3) Can the surviving spouse of the decedent settlor of a revocable trust claim an elective share of assets in that trust even though the spouse is not a named beneficiary of the trust?

DISCUSSION

Summary

A trustee is obligated to administer a trust in accordance with the trust terms. However, when the settlor of a trust has the power to revoke, she also has the power to amend the terms of the trust. Here, the trust was revocable, Settlor had the power to amend, and the accumulation of trust income at Settlor's written direction was the equivalent of an amendment to the trust. Thus, the trustee properly accumulated trust income.

A power of appointment can only be exercised in favor of a permissible object of the power; any property impermissibly appointed passes to the taker in default of appointment. Here, the trust instrument gave Settlor a special testamentary power of appointment; the only permissible objects of the power were Settlor's son and daughter. Thus, Settlor's appointment of trust assets to her *grandchildren* was impermissible. Settlor's testamentary appointment to the son's children cannot be treated as a valid trust amendment because Settlor's retained power of revocation was exercisable only during her lifetime and, here, the appointment was by her will. Because the testamentary appointment of trust assets to the son's children was impermissible, the share that would have passed to them upon the son's death passes to Charity, the taker in default of appointment.

The power to appoint trust assets includes the power to appoint in further trust. Thus, Settlor's appointment of her son's share of trust assets in trust was proper. Accordingly, Charity cannot reach the son's interest in the trust by claiming that the appointment to the son in trust was impermissible.

Settlor's husband is entitled to a one-third elective share of the probate estate. If he could not reach the trust assets, he would not make the election but would merely claim the \$50,000 left to him under the will, as that amount exceeds one-third of the probate estate. If, as is more likely, he could reach the trust assets, the probate and trust estates would have an aggregated value of \$600,000 and he would be entitled to a \$200,000 elective share. Presumably, in satisfying that share he would take \$50,000 from the probate estate, which was left to him by Settlor's will, and the rest from the trust.

Point One (25%)

It was proper for the trustee to accumulate trust income because Settlor retained a power to revoke the trust during her lifetime in a written instrument, and the trustee accumulated income based on written directions from Settlor during her lifetime.

A retained power to revoke a trust includes the power to modify or amend the trust instrument. *See Restatement (Third) of Trusts* § 63 cmt. (g). Courts have taken this position to avoid the triumph of form over substance; the contrary position would require a settlor who wants to amend a trust and lacks clear authority to do so to first revoke, and then to completely restate, the terms of the trust with the intended amendment. Such cumbersome formalities should not be encouraged; thus, the power to revoke includes the power to amend.

The Uniform Trust Code (UTC) follows this approach; under UTC § 602, a trust is both revocable and amendable unless the trust instrument expressly provides otherwise. Under the UTC, the power to revoke or amend is exercisable by will unless, as here, the trust instrument provides otherwise. *See* Unif. Trust Code § 602(c).

Here, the trust instrument required the trustee to distribute all trust income to Settlor during her lifetime; Settlor retained the power to revoke the trust "during Settlor's lifetime"; and the trustee accumulated trust income at Settlor's written direction, drafted during her lifetime. Settlor's written direction effectively amended the terms of the trust as initially created. Thus, no improper accumulation of income occurred.

Point Two(a) (25%)

Settlor could not appoint an interest in the trust to her son's children (Settlor's grandchildren) because they were not permissible objects of her power of appointment.

The donee of a special (nongeneral) power can appoint the property over which the power is exercisable only to "permissible appointees" or "objects" of the power. *Restatement (Third) of Property: Wills and Other Donative Transfers* § 19.14 (2011). *See also Restatement (Second) of Property: Donative Transfers* § 19.3. Permissible appointees are "the persons to whom an appointment is authorized." *Id.* § 17.2(c). Appointments to impermissible appointees are invalid. *Id.* § 19.15. However, objects of a power include only those who receive a "beneficial interest." Thus, when, as here, property is appointed in further trust, the trustee is not an impermissible appointee. *See id.* § 19.15 cmt. e.

Although the trustee is not an impermissible appointee, Settlor's grandchildren (her son's children) are impermissible appointees. Under the trust instrument, Settlor's "children" were the only permissible objects of her testamentary power of appointment. It might be argued that Settlor intended to include more remote descendants, such as grandchildren, when she used the word "children" when creating the power of appointment. However, Settlor's will—executed contemporaneously with the trust instrument—includes a \$50,000 bequest to her "descendants *other than my children*," clearly evidencing Settlor's ability to distinguish between children and more remote descendants. The argument that Settlor intended to include more remote descendants in the term "children" is thus highly likely to fail, and Settlor's appointment of trust assets to the children of Settlor's son thus should be ineffective.

The trust instrument allowed for amendments during Settlor's lifetime by a written instrument. However, the appointment in Settlor's will cannot be treated as an amendment made during Settlor's lifetime by a written instrument.

Point Two(b) (20%)

As the named taker in default of appointment, Charity is entitled to the portion of the trust ineffectively appointed to Settlor's grandchildren. It is not entitled to any interest appointed to the son.

"If part of an appointment is ineffective and another part, if standing alone, would be effective, the effective part is given effect, except to the extent that the donee's scheme of disposition is more closely approximated by concluding that some or all of the otherwise effective part should be treated as ineffective." *Restatement (Third) of Property: Wills and Other Donative Transfers* § 19.20 (2011). To the extent that a power is ineffectively appointed, the ineffectively appointed property passes to the so-called "taker in default of appointment" (here, Charity) designated by the donor of the power (here, Settlor). *See id.*

Thus, assuming that the appointment to Settlor's son's children is ineffective, the share they would have received upon the son's death passes to Charity. The appointment in trust to the son is permissible. Thus, Charity has no claim to the trust income interest appointed to the son.

Point Three (30%)

Settlor's husband may be entitled to an elective (i.e., forced) share of Settlor's revocable trust assets under the illusory-transfer doctrine, the fraudulent-transfer doctrine, or a like doctrine. He is also entitled to one-third of the probate assets.

Although many states have statutes under which a surviving spouse's elective (forced) share of the decedent spouse's estate extends to assets placed into a revocable trust by the decedent spouse (*see, e.g.,* Unif. Probate Code §§ 2-201 *et seq.*), here, the jurisdiction's elective-share statute provides that the spousal right of election extends only to *probate* assets. Because the disposition of assets in a revocable trust is determined by the terms of the trust instrument, trust assets are not probate assets. Thus, the statute does not give Settlor's husband any claim to assets

in her revocable trust. Assuming that the husband has no claim to the trust assets, he will not claim an elective share because that share (\$33,333) would be less than the amount he is entitled to under the will (\$50,000).

However, in many states, case law permits a surviving spouse to claim an elective share of assets contained in a revocable trust under either the illusory-transfer doctrine, the fraudulent-transfer doctrine, or a like doctrine.

Under the illusory-transfer doctrine, a surviving spouse can reach assets transferred during the marriage by the deceased spouse into a revocable trust on the theory that the transfer is economically “illusory” because, by the simple expedient of exercising the power of revocation—typically with nothing more than a signature on a piece of paper—the deceased spouse could have recaptured the assets she had placed in the trust. *See, e.g., Newman v. Dore*, 9 N.E.2d 966 (N.Y. 1937).

Under the fraudulent-transfer doctrine, a surviving spouse can reach assets transferred into a revocable trust on the theory that, as to the surviving spouse, the transfer was “fraudulent.” The assumption behind this doctrine is that a state statute providing surviving spouses with an elective-share entitlement gives spouses a legitimate expectancy in assets that would have been included in the decedent spouse’s probate estate but for their transfer into a revocable trust; such a transfer is treated as defrauding the surviving spouse of his or her expectancy. *See, e.g., In re Estate of Froman*, 803 S.W.2d 176 (Mo. Ct. App. 1991).

Thus, if this jurisdiction recognizes one of these doctrines or another similar doctrine, Settlor’s husband will be entitled to receive one-third of the combined probate (\$100,000) and trust estate (\$500,000) or \$200,000 (1/3 of \$600,000). However, this \$200,000 would be reduced to \$150,000 to take account of the fact that he received \$50,000 under the will.

Not all jurisdictions recognize such a doctrine, however. In those jurisdictions that do not, the husband would receive nothing beyond the \$50,000 he would receive under the will because that amount exceeds the elective share (1/3 of \$100,000).

[NOTE: If an examinee concludes that the husband can elect against the trust assets, the examinee may also discuss who would bear the burden of paying the husband’s share. No credit should be given for this discussion, as the payment issue is beyond the scope of the question.]

FAMILY LAW/CONFLICT OF LAWS ANALYSIS

FAM I.E.; III.D.; IV.B.; V.A.; VI.F. / CNF III.C.5.

ANALYSIS

Legal Problems:

- (1)(a) Did Andrew and Brenda's conduct in State A establish a valid common law marriage?
- (1)(b) Will State B recognize Andrew and Brenda's common law marriage as valid, notwithstanding State B's policy forbidding common law marriages?
- (1)(c) Does Andrew's common law marriage to Brenda give him a basis for claiming a share of her lottery winnings?
- (2)(a) Can Daniel claim a share of Brenda's lottery winnings on the ground that he and Brenda are married and the winnings are marital property?
- (2)(b) If Daniel and Brenda are not married, is there any other basis on which Daniel can claim a share of Brenda's lottery winnings?
- (3) Can Daniel, a nonparent, obtain court-ordered visitation with Chloe despite Brenda's objection and her assertion of parental rights?

DISCUSSION

Summary

Andrew and Brenda established a valid common law marriage in State A, which they did not dissolve by divorce. Under generally accepted conflict-of-laws principles, State B will recognize the validity of Andrew and Brenda's marriage in State A, notwithstanding its own policy against common law marriage. Because Brenda remains married to Andrew in most states, her lottery winnings qualify as "marital property" subject to equitable distribution, although a court would be unlikely to award Andrew much, if any, of the prize.

Because Brenda is married to Andrew, her attempted marriage to Daniel is void, and Daniel will not be able to claim a share of the lottery winnings as "marital" property. However, although not a spouse, in many states Daniel could assert a claim to some share of the lottery winnings under the putative-spouse doctrine. In states that do not recognize the putative-spouse doctrine, Daniel might still be able to claim a share of the lottery winnings under a statute allowing a party to a void marriage to obtain a share of "marital" assets or under a cohabitation-contract theory.

Because Daniel has acted as a parent to Chloe, it is probable, but not certain, that he will obtain visitation with Chloe, notwithstanding Brenda's assertion of parental rights.

Point One(a) (15%)

Andrew and Brenda formed a valid common law marriage in State A and remain married.

Formation of a valid common law marriage requires that the partners (1) cohabited, (2) agreed to be married, and (3) held themselves out to others as a married couple. *See In re Estate of Duval*, 777 N.W.2d 380, 384 (S.D. 2010); *Smith v. Deneve*, 285 S.W.3d 904, 909–10 (Tex. Ct. App. 2009). Andrew and Brenda satisfied all of these requirements. While living together, they agreed to marry and appeared to regard themselves as married; they consistently held themselves out as married to friends, to Andrew’s employer, and to governmental authorities. In a state recognizing common law marriage, this conduct would establish a valid marriage.

When Andrew and Brenda separated, they did not divorce and thus continued to be married to each other. A common law marriage, just like a ceremonial marriage, must be dissolved through a divorce. *See* Homer H. Clark, *The Law of Domestic Relations* § 2.1 (2d ed. 1987); Henry D. Krause and David D. Meyer, *Family Law in a Nutshell* 54–55 (5th ed. 2007).

Point One(b) (10%)

State B will recognize a common law marriage entered into in another state.

Under generally accepted conflict-of-laws principles, a marriage valid under the law of the state where it was contracted is valid elsewhere unless it violates the strong public policy of another state which has the most significant relationship to the spouses and the marriage. *See Restatement (Second) of Conflict of Laws* § 283(2) cmt. f; *Godfrey v. Spano*, 920 N.E.2d 328, 337–38 (N.Y. 2009) (Ciparick, J., concurring); *Duval*, 777 N.W.2d at 382. Perhaps because the vast majority of states once permitted common law marriage, courts in states that do not recognize common law marriage have consistently held that it does not violate any strong public policy to recognize an out-of-state common law marriage. *See Restatement, Conflict of Laws* § 123 (1934) (“A marriage without any formal ceremony is valid everywhere if the acts alleged to have created it took place in a state in which such a marriage is valid.”); *accord Restatement (Second) of Conflict of Laws* § 283 cmts. (g) & (h). Thus, a State B court will recognize Brenda’s common law marriage to Andrew.

Point One(c) (15%)

In most states, Andrew could recover a share of the lottery proceeds in a divorce action against Brenda, but a court is unlikely to award him a significant share of Brenda’s winnings.

Property acquired by either spouse during an ongoing marriage, other than by gift or inheritance, is marital property subject to division on divorce. *See Smith v. Smith*, 687 S.E.2d 720, 729 (S.C. Ct. App. 2009). Although some states provide that marital property ceases to accrue after the parties’ separation, most hold that marital property continues to accrue until the marriage is dissolved. *See, e.g., Larsen-Ball v. Ball*, 301 S.W.3d 228 (Tenn. 2010). Accordingly, because Brenda remains married to Andrew, her lottery winnings are likely to be considered marital property. Thus, Andrew could seek to obtain a share of the lottery winnings in a divorce action.

Some states divide marital property equally, but most grant judges authority to divide the property equitably. Although Andrew, in a divorce action, will likely be able to seek an equitable

distribution of Brenda's lottery winnings as part of the marital property, it is unlikely that a judge would award him a significant (or perhaps *any*) share of the lottery money given the relatively short duration of their cohabitation, the absence of any contributions by Andrew to the marital estate, and the parties' long and near-total estrangement. *See In re Marriage of Palacios*, 656 N.E.2d 107 (Ill. App. Ct. 1995).

Point Two(a) (15%)

Because Brenda was already married when she purported to marry Daniel, her marriage to Daniel is void. Because he is not her legal spouse, he is not entitled to a share of her lottery winnings as marital property.

Bigamy is illegal in all states; no individual may have more than one legal spouse at a time. Because of the ban on bigamy, when a first marriage has not been legally terminated, a second marriage has no legal effect. *See Clark, supra*, § 2.7. Because Brenda and Andrew did not divorce, application of this rule suggests that Brenda and Daniel are not married, and Daniel would have no claim to a share of marital property because they have no "marital" property.

One potential impediment to that conclusion is the presumption that the latest in a series of marriages is valid. The presumption is "one of the strongest known to the law" and can be rebutted only by "strong . . . evidence that the prior marriage still subsists or by cogent and conclusive evidence." *Id.* The presumption is designed to protect the parties' expectations; thus, some cases hold that the presumption's strength increases with the lapse of time and the birth of children in the later marriage.

Once Daniel establishes his marriage ceremony with Brenda, to overcome the presumption of validity, Brenda must show that she previously entered into a valid common law marriage with Andrew and that this marriage was not terminated by divorce or annulment. Most courts have held that the presumption may be rebutted with a showing that court records in all jurisdictions where the first spouse has lived do not evidence a divorce. *See id.*, n. 38 (listing cases). *See also Lott v. Toomey*, 477 So. 2d 316 (Ala. 1985); *Pigford Bros. Const. Co. v. Evans*, 83 So. 2d 622 (Miss. 1955). Thus, if Brenda can show that she had a common law marriage with Andrew, and if there is no evidence that a State A court terminated that marriage, the State B court should find that she is still Andrew's wife. Because the facts specify that Andrew and Brenda were not divorced, it seems likely that Brenda can meet her burden of proof, in which case Daniel will not obtain an equitable distribution of the lottery proceeds or other property through a divorce.

Point Two(b) (25%)

In some jurisdictions, Daniel may be entitled to a share of the lottery proceeds under the putative-spouse doctrine, or under a statute permitting a party to a void marriage to obtain a share of "marital" assets, or under a cohabitation-contract theory.

The putative-spouse doctrine permits a would-be spouse, who participated in a marriage ceremony with a good-faith but mistaken belief in its validity, to be treated like a spouse for

purposes of equitable distribution of the property acquired by the couple during their invalid marriage. *See In re Marriage of Tejada*, 102 Cal. Rptr. 3d 361 (Ct. App. 2009); *Williams v. Williams*, 97 P.3d 1124 (Nev. 2004). In this case, it appears that Daniel believed in good faith that he was married to Brenda and was wholly unaware of the defect in their marriage. (Indeed, even Brenda appears to have been unaware of the defect, as she appears to have accepted Andrew's mistaken assurance that they needed no formal divorce to dissolve their common law marriage.) Accordingly, Daniel would qualify as a putative spouse and could seek an equitable distribution of any property that would have been classified as marital property had the parties been validly married, including Brenda's lottery winnings. *See id.* Given the duration of their relationship, Daniel's equitable claim is likely to be substantial.

In states that do not recognize the putative-spouse doctrine, Daniel might still be able to recover some share of the lottery winnings. Some states that have not recognized the putative-spouse doctrine nonetheless permit distribution of "marital" assets in a proceeding to declare a marriage void. *See, e.g.,* N.Y. Dom. Rel. Law § 236B(5)(a). "The trend of modern statutes . . . is increasingly to blur the line not only between void and voidable marriages but even between them and valid marriages in an attempt to equalize the consequences of termination of marital relationships on whatever ground." Krause, *supra*, at 60. In such a state, Daniel could obtain a share of "marital" assets even though his marriage to Brenda is void.

It is also conceivable that Daniel could claim a share of the lottery proceeds under the law governing unmarried cohabitants. In states following the California Supreme Court's ruling in *Marvin v. Marvin*, 557 P.2d 106 (Cal. 1976), property or support rights between cohabitants can be founded upon an express or implied contract to share assets. *See* Annot., *Property Rights Arising from Relationship of Couple Cohabiting Without Marriage*, 69 A.L.R. 5th 219 (1999 & Supp.) (surveying state laws). Although the *Marvin* theory is almost invariably applied to cohabiting couples who have not entered into a ceremonial marriage, Brenda and Daniel's attempted marriage does imply an agreement to share their property as would a married couple. However, some states refuse, on public policy grounds, to enforce cohabitation agreements. *See, e.g., Hewitt v. Hewitt*, 394 N.E.2d 1204 (Ill. 1979); *Malone v. Odom*, 657 So. 2d 1112 (Miss. 1995).

Point Three (20%)

It is probable that Daniel will succeed in obtaining court-ordered visitation with Chloe, notwithstanding Brenda's objection.

Although Chloe regards Daniel as a father, he is not her legal parent. The Supreme Court of the United States has recognized that parents have a fundamental constitutional right to control the upbringing of their children, including decisions about with whom their children will visit. *See Troxel v. Granville*, 530 U.S. 57, 66 (2000). A fit parent is presumed to act in the best interests of her children, and courts are constitutionally required to give "special weight" to a parent's reasons for objecting to visitation with a third party before overriding the parent's objection and granting visitation. *See id.* at 68–69.

Accordingly, a court would be required to carefully consider Brenda's reasons for objecting to Daniel's further contact with Chloe, but would be permitted to grant visitation if the balance of considerations strongly favored ongoing contact. Here, Daniel has lived with Chloe for 9 of her 11 years, and he has played an active parental role. Chloe calls Daniel "Dad" and regards him as her father. Daniel could thus be considered a "de facto parent."

There are facts to support a finding that Chloe would be harmed by termination of contact with Daniel. Chloe became "very upset" when she learned that Brenda planned to cut off contact. Moreover, Brenda plans to cut off *all* contact with Daniel. In *Troxel*, in explaining why deference to the parent's objection was appropriate, the plurality emphasized that the mother sought only to limit the access of the paternal grandparents and did not seek to cut them off entirely. Brenda's plan to cut off all contact with the man Chloe regards as her father thus will probably weigh against her. See *Peters v. Costello*, 891 A.2d 705 (Pa. 2005) (holding that grandparents who served as caregivers of child, *in loco parentis*, had standing to seek visitation notwithstanding mother's objection under state's Grandparents Visitation Act). Chloe also does not have an active relationship with her biological father and regards Daniel as her dad. In some states, this could tip the balance in Daniel's favor. See Utah Code Annotated 30-5a-103(2)(g); *In re C.M.F.*, 314 P.3d 1109 (Wash. 2013).

State law on nonparent visitation rights varies substantially, however. Thus, it is probable, but not certain, that Daniel will obtain visitation with Chloe.

CORPORATIONS ANALYSIS

COR VI.A.; IX.

ANALYSIS

Legal Problems:

- (1) Does the shareholder have a “proper purpose” in seeking to inspect MEGA’s board minutes and accounting records to determine whether to bring (and maintain) a suit concerning the alleged foreign bribes?
- (2) May the board obtain dismissal of the shareholder’s derivative claim if the board concludes that it is not in the corporation’s best interest to continue the lawsuit, even though the board has not investigated the allegations of illegal foreign bribes?
- (3) Is the decision of the MEGA directors not to investigate or take action on the shareholder’s allegations of illegal corporate behavior a breach of the directors’ duty to act in good faith, and is that decision protected by the business judgment rule?

DISCUSSION

Summary

The shareholder had a “proper purpose” when she sought to inspect board minutes and accounting records relevant to alleged foreign bribes to determine whether to bring a lawsuit concerning possible illegal corporate conduct. Therefore, the shareholder is entitled to inspect the requested minutes and accounting records.

Because the MEGA board did not conduct a reasonable inquiry before concluding that it was not in the corporation’s best interest to investigate and remediate alleged illegal activities, the court is not required to dismiss the shareholder’s suit, and her claim can proceed.

The MEGA directors have a fiduciary duty to act in “good faith,” which encompasses an obligation not to condone illegal corporate conduct and to investigate credible evidence of such illegality. The business judgment rule does not protect decisions of directors to condone or disregard illegal corporate conduct, even if such conduct may be profitable for the corporation.

Point One (30%)

The shareholder has a right to inspect board minutes and accounting records if she has a “proper purpose.” Gathering information to decide whether to bring a lawsuit alleging a breach of fiduciary duties arising from illegal corporate behavior is a proper purpose.

A shareholder, whether of record or who beneficially owns her shares, has a right to inspect minutes of board meetings and “accounting records” for a proper purpose. Model Business Corp. Act (MBCA) § 16.02(b), (c), (f). *See also* Del. Gen. Corp. L. § 220(b) (inspection right encompasses “corporate books and records”). A proper purpose is a purpose reasonably related to a person’s interest as a shareholder, “such as a desire . . . to determine whether improper

transactions have occurred.” Official Comment, MBCA § 16.02(d) (2011). *See also* Del. Gen. Corp. L. § 220(b).

Here, the shareholder has an interest in determining whether the directors permitted the corporation to engage in illegal conduct that could result in the corporation paying civil and criminal penalties. An inspection request must be granted whenever the shareholder articulates a purpose to address “economic risks” to the corporation. *See Conservative Caucus v. Chevron Corp.*, 525 A.2d 569 (Del. Ch. 1987) (permitting inspection of shareholders’ list by shareholder seeking to propose that corporation stop doing business in communist Angola, based on alleged economic risks to corporation).

A shareholder seeking inspection of corporate documents must offer credible evidence that there was mismanagement or other improper conduct. *See Security First Corp. v. U.S. Die Casting and Dev. Co.*, 687 A.2d 563 (Del. 1997) (shareholder has burden to show credible evidence of possible mismanagement to obtain inspection of books and records).

Here, the news story in a leading financial newspaper, coupled with the board’s failure to investigate or to deny the truth of the allegations in the news story, appears to constitute a credible basis for concluding that MEGA may have engaged in illegal conduct. Moreover, although MEGA’s response to the shareholder indicated that the news story about the illegal foreign bribes was “unsubstantiated,” there is no indication in the facts, nor did MEGA make the assertion, that the news story was untrue.

Under the MBCA, the shareholder’s right to inspect corporate documents relevant to the alleged bribery is subject to certain limitations. The MBCA allows a shareholder to inspect “only relevant excerpts of [board] minutes . . . directly connected with the shareholder’s purpose.” Official Comment to MBCA § 16.02(c) (2011). The MBCA also allows inspection of “accounting records,” although this category is not as broad as the “books and records” category found in other corporate statutes. According to the Official Comment, accounting records are “records that permit financial statements to be prepared which fairly present the financial position and transactions of the corporation.” Official Comment to MBCA § 16.01(b). Many documents related to the payment of foreign bribes could be seen to be “accounting records,” to the extent that they relate to how such transactions would be presented in the corporation’s financial statements. Under the MBCA, the corporation could refuse to allow inspection of non- financial documents related to the alleged foreign bribery.

In sum, the shareholder has a right to inspect MEGA’s board minutes and accounting records related to the alleged bribery of Country X officials because her purpose is connected to bringing a lawsuit to protect her economic interest in MEGA.

[NOTE: Under the MBCA, a “proper purpose” need not be shown for the inspection of minutes of shareholders’ meetings. *See* MBCA §§ 16.01(e), 16.02(a). But here the shareholder asked for board minutes, for which a “proper purpose” must be shown. *See* MBCA § 16.02(d)(1).

Under the MBCA, the shareholder's inspection rights were not terminated when she filed her derivative claim against the MEGA directors. The MBCA instead specifies that shareholders who have been denied inspection may apply for a court order permitting inspection, which the court is to decide "on an expedited basis." MBCA § 16.04(b). Courts have encouraged shareholders to first seek inspection of corporate documents before bringing suits alleging improper corporate transactions and breaches of fiduciary duty. *See Brehm v. Eisner*, 746 A.2d 244 (Del. 2000). But the right to inspection has been recognized even while a lawsuit is proceeding. *See King v. VeriFone Holdings, Inc.*, 12 A.3d 1140, 1145–46 (Del. 2011).]

Point Two (30%)

The board may not obtain dismissal of the shareholder's derivative claim, even if the board concludes that it is not in the corporation's best interest to continue the lawsuit, because the board's conclusion was not based on a reasonable investigation into the shareholder's allegations.

Under the MBCA, the board can seek dismissal of the shareholder's derivative action if a majority of the board's "qualified directors"—those directors who do not have a material interest in the derivative action, *see* MBCA § 1.43(a)(1)—determine in good faith, after conducting a reasonable inquiry upon which its conclusions are based, that continuance would be contrary to the corporation's best interests. MBCA § 7.44(a) & (b). Although the Official Comment to MBCA § 7.44 suggests that a full-blown board investigation is not necessary, the board's request for dismissal must have "some support in the findings of the inquiry." Failure to investigate credible allegations of corporate illegality constitutes lack of "good faith." *Stone v. Ritter*, 911 A.2d 362, 364–65 (Del. 2006) (stating that directors breach duty of good faith if they "knew or should have known" of violations of law and failed to act).

Here, given the apparent lack of any inquiry or corrective action by the board, as evidenced by the letter of June 1 to the shareholder, the court should not grant the motion to dismiss the derivative action or accept the board's conclusion that proceeding with the lawsuit would be contrary to the corporation's best interests.

[NOTE: Directors breach their fiduciary duties by failing to act upon "red flags" of corporate illegality. *See Graham v. Allis-Chalmers Mfg. Co.*, 188 A.2d 125, 130 (Del. 1963) (directors breach their duties by ignoring "obvious danger signs" of illegal corporate conduct). Here, the MEGA board's failure to investigate the shareholder's allegations based on a report in a leading financial newspaper, which the board did not deny, suggests bad faith on the part of the directors, thus excusing demand. *See In re Abbott Laboratories Derivative Shareholders Litig.*, 325 F.3d 795, 806 (7th Cir. 2003) (excusing demand when shareholders alleged that directors had known of illegal activity and allowed it to continue).]

[NOTE: The question does not call for a discussion of the MBCA's demand requirement. MBCA § 7.42 (90-day waiting period before bringing derivative claim). Thus, discussion of the demand requirement is irrelevant. *Cf. Aronson v. Lewis*, 473 A.2d 805 (Del. 1984) (requiring demand, unless excused as futile); *see also Marx v. Akers*, 666 N.E.2d 1034 (N.Y. 1996) (adopting

Aronson approach and excusing demand when current board is “interested” in challenged transaction, board decision was not appropriately informed, or challenged transaction was so egregious that it could not be product of sound business judgment).]

Point Three (40%)

The MEGA directors’ disregard of the legality of the corporation’s conduct is a failure to act in good faith and is not protected by the business judgment rule, even if the directors believed the conduct to be in the corporation’s best interests.

A director is liable to the corporation for the director’s decisions or failures to take action that were “not in good faith.” MBCA § 8.31(a)(2)(i). The Official Comment to this section states:

Conduct involving knowingly illegal conduct that exposes the corporation to harm will constitute action not in good faith, and belief that decisions made (in connection with such conduct) were in the best interests of the corporation will be subject to challenge as well.

Courts applying the duty of good faith have made clear that corporate directors cannot consciously violate—or permit the corporation to violate—legal norms, even when such violations may be profitable to the corporation. The Official Comment to MBCA § 8.31 states that “a lack of good faith is presented . . . where a transaction . . . is known to constitute a violation of applicable positive law.” *See Gagliardi v. TriFoods Int’l Inc.*, 683 A.2d 1049, 1051 (Del. Ch. 1996); Hillary A. Sale, “Monitoring Caremark’s Good Faith,” 32 *Del. J. Corp. L.* 719 (2007) (collecting and summarizing cases where directors were alleged to have failed to monitor illegal corporate conduct).

In addition, the duty to act in good faith requires corporate directors to establish procedures to ensure the corporation’s compliance with legal norms. *See Stone v. Ritter, supra*, at 369–70. Thus, courts have required corporate directors to establish “[corporate] information and reporting systems” that provide “timely, accurate information . . . concerning both the corporation’s compliance with law and its business performance.” *In re Caremark Int’l, Inc. Derivative Litig.*, 698 A.2d 959, 970 (Del. Ch. 1996); *see also* Official Comment to MBCA § 8.30 (citing *Caremark* for proposition that board of directors must ensure that the corporation “has information and reporting systems in place to provide directors with appropriate information . . . to permit them to discharge their responsibilities”).

The “good faith” standard requires that directors, among other things, not approve (or condone) wrongful or illegal activity. *See In re Walt Disney Co. Derivative Litig.*, 825 A.2d 275, 289 (Del. Ch. 2003) (holding that attitude of “we don’t care about risks” breaches duty of good faith). In particular, directors violate their fiduciary duties by approving bribery of foreign government officials, even when the practice is widespread. *See Gall v. Exxon Corp.*, 418 F. Supp. 508 (S.D.N.Y. 1976).

Even when disregard of legal norms might result in a net financial benefit to the corporation, directors are required to comply with the law. *See In re Caremark Int'l, Inc., supra* (requiring internal controls even with no net financial benefit to corporation); *see also Guttman v. Huang*, 823 A.2d 492, 506 (Del. Ch. 2003) (fiduciary cannot manage entity in illegal fashion, even if fiduciary believes illegal activity will result in profits for the entity). Here, the failure of MEGA's directors to investigate or take corrective action regarding alleged illegal foreign bribes exposes the corporation to significant penalties and constitutes action not in good faith.

The business judgment rule does not protect decisions by directors not acting in good faith. As the Official Comment to MBCA § 8.31 summarizing the business judgment rule states:

In basic principle, a board of directors enjoys a presumption of sound business judgment . . . that, in making a business decision, directors act in good faith, on an informed basis, and in the honest belief that the action taken is in the best interests of the corporation. *See Aronson v. Lewis*, 473 A.2d 805, 812 (Del. 1983).

Specifically, the business judgment rule, while normally protecting the honest business judgment of directors, does not apply upon a showing of “illegality.” *See Shlensky v. Wrigley*, 237 N.E.2d 776, 778 (Ill. App. Ct. 1968) (business judgment rule applies “unless there is a showing of fraud, illegality, or conflict of interest”).

Directors breach their fiduciary duties—and the business judgment rule provides no protection—when they approve illegal business operations (or refuse to investigate alleged illegal business activities), even though the illegal business may be profitable to the corporation. *See Roth v. Robertson*, 118 N.Y.S. 351 (Sup. Ct. 1909) (bribery of state officials to protect an amusement park's illegal Sunday operations); *Miller v. AT&T*, 507 F.2d 759, 761 (3d Cir. 1974) (corporation's failure to collect loan to political party, in violation of campaign finance laws).

Thus, the MEGA directors would not be protected by the business judgment rule.

AGENCY ANALYSIS

AGC II.A., B.

ANALYSIS

Legal Problems:

- (1) When an agent enters into a contract with a third party on behalf of a disclosed principal on terms that were not authorized by the principal, who is liable to the third party: the agent, the principal, or both?
- (2) When an agent enters into a contract with a third party on behalf of an undisclosed principal on terms authorized by the principal, who is liable to the third party if the principal later repudiates the contract: the agent, the principal, or both?
- (3) When an agent enters into a contract with a third party on behalf of a partially disclosed principal for goods different from those authorized by the principal, who is liable to the third party if the principal accepts the different goods: the agent, the principal, or both?

DISCUSSION

Summary

As a general matter, an agent binds a principal to a contract, whether or not the principal is disclosed to the third party, if the agent had either actual or apparent authority to enter into the contract. Without that authority, the agent alone is liable on the contract unless the principal becomes liable by subsequently ratifying the contract. An agent acting with authority is not liable on the contract if the principal's identity is disclosed to the third party, but is liable if the principal's identity is not disclosed or only partially disclosed, unless the contract provides otherwise.

Applying these principles here, because the woman disclosed that she was acting for the inventor on the chip contract, but purchased different chips from those specified by the inventor, the inventor is not liable because the woman did not have authority to enter into the contract; the woman is also liable on the chip contract because she impliedly warranted that she had authority.

Both the woman and the inventor are liable on the blue-lens contract. Although the woman did not disclose that she was acting for the inventor on the blue-lens contract, the inventor is liable on this contract because he had given the woman actual authority to buy the blue lenses on his behalf; the woman is also liable because she signed the contract in her own name.

Finally, both the inventor and the woman are liable on the shutoff-switch contract that the woman entered into on behalf of the partially disclosed inventor, even though the switches were different from those authorized. The inventor became liable by ratifying the contract when he accepted the different switches, and the woman became liable by signing a contract on behalf of a partially disclosed principal.

[NOTE: While the contracts in this question are for the sale of goods and, thus, governed by Article 2 of the Uniform Commercial Code, the UCC does not contain agency rules resolving the issues in this question. Thus, common law principles govern. UCC § 1-103(b).]

Point One (30%)

With respect to the chips, the woman (agent) is liable on the contract, but the inventor (principal) is not because the woman, notwithstanding her disclosure that she was acting as his agent, lacked actual or apparent authority to enter into the contract on behalf of the inventor with the chip manufacturer.

A principal is not liable on a contract entered into by an agent unless the agent had actual or apparent authority. *See generally Restatement (Second) of Agency* § 140; *accord, Restatement (Third) of Agency* § 6.01. In the absence of actual or apparent authority, it is irrelevant whether the agent disclosed to the third party that the agent was acting on behalf of a disclosed principal. *See generally Restatement (Second) of Agency* § 144; *accord, Restatement (Third) of Agency* § 6.01.

Actual authority exists when the principal by written or spoken words or other conduct “causes the agent to believe that the principal desires . . . [the agent] to act on the principal’s account.” *Restatement (Second) of Agency* § 26. While rephrased, the Third Restatement is similar and provides that “[an] agent acts with actual authority when, at the time of taking action that has legal consequences for the principal, the agent reasonably believes, in accordance with the principal’s manifestations to the agent, that the principal wishes the agent so to act.” *Restatement (Third) of Agency* § 2.01.

Apparent authority is created with respect to a third person when “by written or spoken words or any other conduct” the principal causes the third person “to believe that the principal consents to have the act done on his behalf by the person purporting to act for him.” *Restatement (Second) of Agency* § 27. The Third Restatement is similar: “[a]pparent authority . . . is created by a person’s manifestation that another has authority to act with legal consequences for the person who makes the manifestation, when a third person reasonably believes the actor to be authorized and the belief is traceable to the manifestation.” *Restatement (Third) of Agency* § 3.03.

Here, the inventor is not liable on the Series B chips contract because the woman had neither actual nor apparent authority to purchase these chips on the inventor’s behalf. First, there is no basis to conclude that the woman had actual authority to buy Series B chips. The inventor instructed the woman to buy only Series A chips; thus, the woman only had actual authority to purchase the Series A chips and no others. She exceeded her actual authority when she purchased the Series B chips.

Next, there was no apparent authority here. There are no facts to suggest that the inventor (as opposed to the woman) manifested to the chip manufacturer that the woman had authority to acquire Series B chips. Without such evidence, there is no apparent authority.

Agency Analysis

While the inventor (principal) is not liable to the chip manufacturer on the chip contract, the woman (agent) would be liable to the chip manufacturer for damages because she breached the implied warranty to the manufacturer that she had authority to act on behalf of the inventor. A person who “purports to make a contract . . . with a third party on behalf of another person, lacking power to bind that person, gives an implied warranty of authority to the third party and is subject to liability to the third party for damages for loss caused by the breach of that warranty, including loss of the benefit expected from performance by the principal.” *Restatement (Third) of Agency* § 6.10; accord, *Restatement (Second) of Agency* §§ 329–330. Because she breached this warranty, she is liable to the manufacturer.

Point Two (30%)

Both the inventor and the woman are liable to the blue-lens manufacturer on the contract for blue lenses. The inventor is liable because the woman acted with actual authority; the woman is liable as a party to the contract because the principal was undisclosed.

“An undisclosed principal is bound by contracts . . . made on his account by an agent acting within his authority.” *Restatement (Second) of Agency* § 186; accord, *Restatement (Third) of Agency* § 6.03.

An agent who purports to act on his own account, but in fact is making a contract on behalf of an undisclosed principal, is also a party to the contract. *Restatement (Second) of Agency* § 322; accord, *Restatement (Third) of Agency* § 6.03. The rationale for this rule is that the third party has every reason in the case of an undisclosed principal and agency to assume that the person with whom it contracts expects to be liable on the contract. Additionally, to the extent the third party was relying on the financial solvency of the person on the other side of the contract, the third party would have no basis to rely on anyone but the agent who signed the contract.

Here, the woman had actual authority from the inventor to purchase blue lenses at a price not to exceed \$300 per unit. By contracting to purchase blue lenses for \$295 per unit, the woman acted with actual authority in entering into the blue-lens contract. Thus, the inventor became bound to the contract, even though the third party had no reason to know that the woman was acting on behalf of the inventor. The inventor had no right to refuse to accept the shipment and refuse to pay for the blue lenses.

The woman is also liable on the contract because she purported to act on her own behalf. The blue-lens manufacturer relied on the woman being bound by the contract.

[NOTE: Because the inventor (not the woman) was the person who expected to reap the benefit of the contract with the blue-lens manufacturer, as between them the inventor has the primary responsibility to carry out the terms of the contract, and the agent acts as a surety for that obligation. Thus, if the manufacturer were to sue the woman and recover, the woman could seek to be recompensed by the inventor. If the manufacturer were to sue the inventor and then sue the woman, the woman would be entitled to raise all defenses available to a surety. *Restatement (Second) of Agency* § 335.

In addition, in some jurisdictions the third party may be required, prior to judgment, to elect whether to take judgment against the undisclosed principal or the agent. *See Restatement (Second) of Agency* § 210A. In such an election jurisdiction, either the inventor (undisclosed principal) or the woman (agent) could escape liability by making a demand on the third-party manufacturer to elect to take judgment against the other. This “election rule” has been heavily criticized and has been abandoned in some jurisdictions in favor of a “satisfaction rule” that allows the third party to take judgment against both the undisclosed principal and the agent, but entitles the third party to only one satisfaction of the judgment. *See Restatement (Third) of Agency* § 6.09. Thus, in a satisfaction jurisdiction, if both the inventor and the woman are sued, neither of them can escape judgment by demanding that the third-party manufacturer make an election.]

Point Three (40%)

Both the inventor and the woman are liable on the contract for the shutoff switches. The inventor is liable by ratifying the contract; the woman is liable because she acted on behalf of a partially disclosed principal, and there is no indication that the third party agreed to look solely to the partially disclosed principal for payment.

When a third party contracts with a person that the third party knows is acting in an agency capacity for another but the third party is unaware of the identity of the principal, the principal for whom the agent acts is called a “partially disclosed principal.” *Restatement (Second) of Agency* § 4(2). Here, the shutoff-switch manufacturer knew that the woman was acting as someone’s agent but there is nothing to indicate that the manufacturer was aware of the principal’s identity. Thus, the inventor is a “partially disclosed principal.” A partially disclosed principal can be liable on a contract entered into by an agent who had actual or apparent authority. *Restatement (Second) of Agency* § 144; accord, *Restatement (Third) of Agency* § 6.02(1). Here, the woman acted without actual or apparent authority, so this cannot be the basis to hold the inventor liable on the contract. *See Point One.*

On the other hand, even though the woman acted without actual or apparent authority, the inventor accepted the shutoff switches and used them in the production of the mowers. This amounts to a ratification of the contract between the woman and the switch manufacturer. Where the principal ratifies the act of an agent, the principal is liable on the contract just as if the agent had acted with actual authority. *Restatement (Third) of Agency* § 4.01(1). Ratification occurs if the principal’s conduct “justifies a reasonable assumption that” the principal consents to the act performed on the principal’s behalf. *Id.* § 4.01(2)(b); accord, *Restatement (Second) of Agency* §§ 82–83. Here, the inventor’s use of the switches justifies a reasonable assumption of consent.

As for the woman, she is also liable on the contract. Unless the agent and the third party agree otherwise, an agent acting on behalf of a partially disclosed principal is a party to the contract if the agent acted with actual or apparent authority. *Restatement (Second) of Agency* § 321; *Restatement (Third) of Agency* § 6.02(2). Here, because of the inventor’s ratification of the contract, the woman is deemed to have acted with actual authority, and there is no indication that the manufacturer agreed to look solely to the partially disclosed principal for payment.

Agency Analysis

[NOTE: In addition, there is no requirement that the manufacturer “elect” either a remedy against the agent or a remedy against the principal where, as here, there is a partially disclosed principal. *See Restatement (Second) of Agency* § 336; *Restatement (Third) of Agency* § 6.09. Thus, neither the inventor nor the woman can escape liability by making a demand on the manufacturer to make an election to take judgment against the other.]

REAL PROPERTY ANALYSIS

RLP I.C., D.3

ANALYSIS

Legal Problems:

- (1) Can the landlord argue that he (a) lawfully withheld his consent to the assignment of the lease, (b) did not accept the tenant's surrender of the apartment, and (c) had no duty to mitigate, but even if he did have a duty to mitigate, he had fulfilled that duty?
- (2) Can the tenant argue (a) that the landlord unreasonably refused to consent to the assignment of the lease, (b) that the landlord accepted her surrender of the apartment and therefore is not entitled to unpaid rent, and (c) that even if the surrender was not accepted, the landlord had a duty to mitigate and failed to do so?

DISCUSSION

Summary

The landlord will argue that the lease provision restricting assignment without his consent was valid and that he could lawfully refuse to accept the tenant's proposed assignee for any reason or no reason at all. The landlord will also argue that, even if this jurisdiction requires that his refusal to consent had to be reasonable, it was reasonable in light of his prior experiences with lawyers as tenants. He will also argue that he did not accept the tenant's surrender of the apartment and that he had no duty to mitigate. The landlord will argue that even if he *did* have a duty to mitigate, he fulfilled that duty by trying (albeit unsuccessfully) to re-let the apartment. The landlord will claim that there was no market for the tenant's apartment and that he is thus entitled to 17 months of unpaid rent.

The tenant should concede that, because the restraint on assignment was valid, her purported assignment of the lease required the landlord's written consent. However, the tenant will argue that the landlord had to be reasonable if he was going to withhold his consent to an assignment, and that he was unreasonable in refusing to rent to lawyers. The tenant will argue that the landlord accepted her surrender and therefore is not entitled to sue for any unpaid rent. Alternatively, she will argue that even if the landlord did *not* accept the surrender, he had a duty to mitigate and he failed to do so, and thus is not entitled to any unpaid rent.

On the whole, the landlord here has the better arguments and should be entitled to recover 17 months of unpaid rent from the tenant.

[NOTE: The call of this question requires examinees to construct arguments relating to the following issues: (1) Did the landlord properly withhold consent to an assignment? (2) Did the landlord accept the tenant's surrender of the apartment? (3) Did the landlord have a duty to mitigate? and (4) If the landlord had a duty to mitigate, did he fulfill that duty? The question tests examinees' ability to identify the issues regarding consent to the assignment, surrender, and mitigation, and to marshal facts in support of each party's arguments.]

Point One(a) (20%)

The landlord will argue that the lease provision prohibiting assignment without his written consent was valid and that he could withhold consent for any reason or for no reason at all. The landlord will also argue that, even if this jurisdiction's law requires that his refusal to accept the assignment be reasonable, his decision to withhold consent here was reasonable, given his past experiences with lawyers as tenants.

Here, the tenant attempted to assign her lease—that is, to transfer the balance of the lease term—to a lawyer. A restriction on assignment is a valid restraint on alienation. William B. Stoebuck & Dale A. Whitman, *The Law of Property* 379 (3d ed. 2000). Because a restraint on transfer by assignment is valid, the lease provision here prohibiting an assignment without the landlord's consent was valid.

The landlord will argue that he was free to withhold his consent for any reason or for no reason at all. The clause in the tenant's lease is commonly described as a "silent" consent clause because it does not include an express standard or condition for the giving or withholding of consent. John G. Sprankling, *Understanding Property Law* 286 (3d ed. 2012). Under the traditional rule—still the majority rule today—a silent consent clause gives the landlord the right to withhold consent for any reason or for no reason—even if the withholding of consent is arbitrary and unreasonable. *Id.* at 287. (That rule, however, is subject to statutory housing discrimination laws that are not at issue here.)

Alternatively, the landlord will argue that, even if this jurisdiction is one of the minority group in which refusal to consent to an assignment must be reasonable, his refusal was reasonable in light of his personal experiences renting to lawyers; his refusal represented a legitimate business judgment.

[NOTE: Some examinees may conclude that the lease did not prohibit a sublet. But the tenant informed the landlord that the lawyer "was willing to take over the *balance of the [tenant's] lease term*" (emphasis added). This statement evidences that the tenant was purporting to assign the lease and not sublet. This transfer should be construed as an assignment, the making of which was restricted under the lease. Therefore, the tenant would not have the right to transfer the lease to the lawyer without the landlord's consent.]

Point One(b) (15%)

The landlord will argue that the tenant's actions (removing her possessions and leaving the keys in the landlord's mail slot with a note) constituted an abandonment of the apartment without cause. Further, the landlord will argue that he did not accept a surrender of the apartment.

Abandonment occurs when a tenant vacates the leased premises before the end of the term, has no intent to return, and defaults in the payment of rent. Sprankling, *supra*, at 293. Under traditional common law principles, a landlord has three options when a tenant abandons the premises: (1) accept a surrender of the premises, thereby extinguishing the tenant's duty to pay

rent due after the acceptance of surrender; (2) re-let or attempt to re-let the premises on the tenant's behalf, and recover from the tenant damages based on the difference between what the tenant owed for rent and what the landlord collected from re-letting; or (3) leave the premises vacant and sue the tenant for unpaid rent as it accrues. *Id.* at 294; Stoebuck & Whitman, *supra*, at 403.

Here, on July 25, 2015, the tenant vacated the apartment and left the keys in an envelope in the landlord's mail slot with a note stating that she was moving abroad, would not return before the end of the lease, and would not pay any rent from August 1 onward. The landlord emailed the tenant the next day and acknowledged that he had found the keys and the note. "Although this is a problem you created," he wrote, "I want to be a nice guy and help you out. I feel pretty confident that I can find a suitable tenant who is not a lawyer to rent your apartment."

The landlord will argue that he did not voluntarily accept the keys; they were merely placed in his mail slot and the statement in his email was merely an offer to attempt to re-let the premises on the tenant's behalf. His email emphasized, "this is a problem you created," which implied that it was the tenant's problem to resolve. This interpretation is bolstered by the landlord's statement of his willingness to "help [the tenant] out." Nowhere in the email did the landlord state that he was releasing the tenant from her obligations under the lease.

Furthermore, the facts state that local residential rents had declined precipitously since early July, and it is unlikely that the landlord would voluntarily suffer any financial loss resulting from a re-let at a reduced rent.

Point One(c) (15%)

The landlord will argue alternatively that he had no duty to mitigate or, if he did, that he discharged it. Either way, he will claim that he can recover the 17 months of unpaid rent.

In a jurisdiction following the common-law no-mitigation rule, the landlord will argue that he had no duty to mitigate and that, because he did not accept the tenant's surrender (*see* Point One(b)), he is entitled to the 17 months of unpaid rent. In a jurisdiction that has enacted a statute requiring the landlord to mitigate, he will argue that that duty was satisfied. *See* Unif. Residential Landlord Tenant Act § 1.105(a) (1972). He advertised available apartments with a sign in front of the building, in a newspaper, and on a website, and that should be sufficient mitigation. The landlord also showed the tenant's apartment along with the other vacant apartments to prospective tenants, thereby providing a fair chance that the tenant's apartment would be rented before other apartments in the landlord's rental pool. On these facts, a court most likely would find that the landlord made reasonable efforts to mitigate.

Of those states requiring mitigation, none requires that mitigation be successful; in fact, if a court determined that the landlord made reasonable efforts to mitigate but was unsuccessful, the court would find that the landlord would be entitled to damages equal to the difference between the tenant's promised rent (\$2,000/month) and the apartment's fair rental value. Given that the landlord took reasonable steps to mitigate and was unable to rent the tenant's unit "at any price,"

it appears that the fair rental value of the tenant's unit is \$0. Thus, the landlord's position would be that he is entitled to \$34,000 in damages (\$2,000/month for 17 months). In other words, if the landlord did not accept the surrender, then regardless of whether the landlord had a duty to mitigate, the landlord is entitled to the 17 months of unpaid rent.

Point Two(a) (20%)

The tenant will argue that although the landlord's consent to an assignment was required, withholding consent must be reasonable, and here the landlord did not act reasonably.

The tenant should concede that the lease required the landlord's consent to an assignment. However, she will argue that the law requires the landlord to act reasonably in rejecting the proposed assignment and here the landlord was unreasonable. There is an emerging modern trend that a landlord's consent not be unreasonably withheld, which is based upon the principle that leases are subject to the good faith requirements of contracts in general. Thus, a minority of courts require that a landlord have a reasonable basis for withholding consent to a proposed transfer. *See Kendall v. Ernest Pestana, Inc.*, 709 P.2d 837 (Cal. 1985) (commercial leases); *see Siewert v. Casey*, 80 So. 3d 1114, 1116 (Fla. Dist. Ct. App. 2012) (residential lease); *Pac. First Bank v. New Morgan Park Corp.*, 876 P.2d 761, 768 (Or. 1994); *Basnett v. Vista Village Mobile Home Park*, 699 P.2d 1343, 1346–47 (Colo. Ct. App. 1984), *rev'd on other grounds*, 731 P.2d 700, 704 (Colo. 1987) (residential leases).

Factors that may be considered under a reasonableness test include the proposed assignee's financial ability to pay, the suitability of the premises for the proposed assignee's use, and the need for alterations to accommodate the proposed assignee's use. *Kendall, supra*, at 842. It is not commercially reasonable to deny consent solely on the basis of personal taste, convenience, or sensibility. *Id.* Here, the facts suggest that the lawyer had the financial ability to pay the rent, and there is no indication that the lawyer intended to use the apartment for anything other than a residence. The tenant will also argue that the landlord's stated objection—"I've learned from personal experiences with [lawyers] as tenants that they argue about everything, make unreasonable demands, and make my life miserable"—is merely a matter of personal taste or convenience, and thus the landlord's refusal to consent was unreasonable.

Point Two(b) (15%)

The tenant will argue that the landlord accepted the surrender of the apartment, thus ending her obligation to pay rent.

The tenant will argue that the landlord accepted her surrender of the premises when he accepted the keys and emailed her, stating, "Although this is a problem you created, I want to be a nice guy and help you out. I feel pretty confident that I can find a suitable tenant who is not a lawyer to rent your apartment." Those words could be construed as a willingness to help the tenant by releasing her from her obligations under the lease. If the lease was terminated by the landlord's acceptance of the surrender, the landlord had no right to any rent after he accepted the keys and sent that email on July 26, 2015.

Point Two(c) (15%)

The tenant will argue that even if the landlord did not accept the surrender, he still had a duty to mitigate and failed to do so.

Alternatively, the tenant will argue that even if the landlord did not accept the surrender, he still had a duty to mitigate damages and that he failed to fulfill that duty. While most jurisdictions today reject the common-law rule that a landlord has no duty to mitigate, there is little guidance as to what efforts are sufficient to satisfy the mitigation requirement. Sprankling, *supra*, at 299. Some statutes have defined reasonable efforts as “steps which the landlord would have taken to rent the premises if they had been vacated in due course, provided that those steps are in accordance with local rental practice for similar properties.” Me. Rev. Stat. Tit. 14 § 6010-A (2); Wis. Stat. § 704.29(2). The tenant might argue that the landlord should have shown the tenant’s apartment to the exclusion of other vacant apartments in the landlord’s rental pool. She might also argue that there was some other deficiency in the landlord’s efforts. Her arguments on this point are weak, as noted above in Point One(c).

Lastly, the tenant will claim that because the landlord’s efforts to mitigate were insufficient, his claim that he could not rent the tenant’s apartment at any price is irrelevant. The tenant will further argue that the landlord is not entitled to 17 months of unpaid rent (\$34,000) under the lease but would only be entitled to the difference between the rent owed under the lease and the fair rental value (i.e., the amount of rent the landlord could have recovered if he had made reasonable attempts to secure a substitute tenant). The fair rental value is presumably \$1,000 a month in light of the fact that he was able to rent two of the other apartments for that amount. That would reduce the landlord’s damages to \$17,000 (unpaid rent of \$34,000 for the 17 months less \$17,000, the fair rental value of the apartment over the 17-month period). Sprankling, *supra*, at 299.

In some jurisdictions, a landlord’s failure to mitigate would relieve the tenant of any liability for rent or damages after the date of abandonment because by failing to mitigate, the landlord is deemed to have accepted the surrender. *See* Unif. Residential Landlord and Tenant Act § 4.203(c). In those jurisdictions, the landlord would be entitled to no damages.

[NOTE: As explained in Point One(b), at common law if a tenant abandoned his or her apartment and the landlord did not accept the surrender, the landlord had no duty to mitigate damages. However, the landlord could sue the tenant only for past-due rents and, because rent was not due until the payment date, the landlord could not sue for future rents. There is an emerging doctrine applying contract principles to a lease that states that even if the landlord accepts surrender, the landlord is entitled to damages as a result of a tenant’s anticipatory repudiation of the lease. Sprankling, *supra*, at 294. Under this theory, a tenant would be liable for the difference, if any, between the rent due under the lease and the fair rental value of the premises plus the landlord’s consequential damages of advertising the unit for rent and the costs associated with showing it to prospective tenants. However, that possibility is written out of this question. Of course, if the duty to mitigate applies, contract damages rules apply.]

July 2017
MEE Questions
and Analyses

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the July 2017 MEE. (In the actual test, the questions are simply numbered rather than being identified by area of law.) The instructions for the test appear on page iii.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, identified by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Constitutional Law question on the July 2017 MEE tested the following areas from the Constitutional Law outline: I.B.2. The nature of judicial review—Jurisdiction—The Eleventh Amendment and state sovereign immunity; III.B.1. The relation of nation and states in a federal system—Federalism-based limits on state authority—Negative implications of the commerce clause.

For more information about the MEE, including subject matter outlines, visit the NCBE website at www.ncbex.org.

Description of the MEE

The MEE consists of six 30-minute questions and is a component of the Uniform Bar Examination (UBE). It is administered by user jurisdictions as part of the bar examination on the Tuesday before the last Wednesday in February and July of each year. Areas of law that may be covered on the MEE include the following: Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Civil Procedure, Conflict of Laws, Constitutional Law, Contracts (including Article 2 [Sales] of the Uniform Commercial Code), Criminal Law and Procedure, Evidence, Family Law, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Article 9 (Secured Transactions) of the Uniform Commercial Code. Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusions. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Examinees testing in UBE jurisdictions must answer questions according to generally accepted fundamental legal principles. Examinees in non-UBE jurisdictions should answer according to generally accepted fundamental legal principles unless your testing jurisdiction has instructed you to answer according to local case or statutory law.

July 2017 MEE Questions

Torts

Constitutional Law

Secured Transactions

Decedents' Estates/Trusts & Future Interests

Evidence/Criminal Law & Procedure

Civil Procedure/Conflict of Laws

TORTS QUESTION

On the evening of July 4, a woman went to the end of her dock to watch a fireworks display on the lake where her house was located. The woman's husband remained inside the house. The fireworks display was sponsored by the lake homeowners association, which had contracted with a fireworks company to plan and manage all aspects of the fireworks display.

The fireworks display was set off from a barge in the middle of the lake. During the finale, a mortar flew out horizontally instead of ascending into the sky. The mortar struck the woman's dock. She was hit by flaming debris and severely injured. When the woman's husband saw what had happened from inside the house, he rushed to help her. In his hurry, he tripped on a rug and fell down a flight of stairs, sustaining a serious fracture.

All the fireworks company employees are state-certified fireworks technicians, and the company followed all governmental fireworks regulations. It is not known why the mortar misfired.

The woman and her husband sued the homeowners association and the fireworks company to recover damages for their injuries under theories of strict liability and negligence. At trial, they established all of the above facts. They also established the following:

- 1) Nationally, accidents involving fireworks cause about 9,000 injuries and 5 deaths each year. About 15% of these accidents are caused by mortars misfiring in the course of professional fireworks displays, and some of these accidents occur despite compliance with governmental fireworks regulations.
- 2) Even with careful use by experts, fireworks mortars can still misfire.
- 3) Although a state statute requires a "safety zone" of 500 feet from the launching site of fireworks when those fireworks are launched on land, the statute does not refer to fireworks launched on water. Neither the homeowners association nor the fireworks company established such a zone.
- 4) The average fireworks-to-shore distance for this display was 1,000 feet. The woman's dock is 450 feet from the location of the fireworks barge; at only three other points on the lake is there land or a dock within 500 feet of the fireworks barge location.

After the conclusion of the plaintiffs' case, both the homeowners association and the fireworks company moved for a directed verdict on the basis that the facts established by the evidence did not support a verdict for the plaintiffs.

The trial judge granted the motion, based on these findings:

1. Fireworks displays are not an abnormally dangerous activity and thus are not subject to strict liability.
2. Based on the evidence submitted, a reasonable jury could not conclude that the conduct of the fireworks company was negligent.
3. The misfiring mortar was not the proximate cause of the husband's injuries.
4. The homeowners association cannot be held liable for the fireworks company's acts or omissions.

As to each of the judge's four findings, was the judge correct? Explain.

CONSTITUTIONAL LAW QUESTION

Businesses in the United States make billions of dollars in payments each day by electronic funds transfers (also known as “wire transfers”). Banks allow their business customers to initiate payment orders for wire transfers by electronic means. To ensure that these electronic payment orders actually originate from their customers, and not from thieves, banks use a variety of security devices including passwords and data encryption. Despite these efforts, thieves sometimes circumvent banks’ security methods and cause banks to make unauthorized transfers from business customers’ bank accounts to the thieves’ accounts.

To combat this type of fraud, State A recently passed a law requiring all banks that offer funds transfer services to State A businesses to use biometric identification (e.g., fingerprints or retinal scans) to verify payment orders above \$10,000. Although experts dispute whether biometric identification is significantly better than other security techniques, the State A legislature decided to require it after heavy lobbying from a State A–based manufacturer of biometric identification equipment.

A large bank, incorporated and headquartered in State B, provides banking services to businesses in every U.S. state, including State A. Implementation of biometric identification for this bank’s business customers in State A would require the bank to reprogram its entire U.S. electronic banking system at a cost of \$50 million. The bank’s own security experts do not believe that biometric identification is a particularly reliable security system. Thus, instead of complying with State A’s new law, the bank informed its business customers in State A that it would no longer allow them to make electronically initiated funds transfers. Many of the bank’s business customers responded by shifting their business to other banks. The bank estimates that, as a result, it has lost profits in State A of \$2 million.

There is no federal statute that governs the terms on which a bank may offer funds transfer services to its business customers or the security measures that banks must implement in connection with such services. The matter is governed entirely by state law.

The bank’s lawyers have drafted a complaint against State A and against State A’s Superintendent of Banking in her official capacity. The complaint alleges all the facts stated above and asserts that the State A statute requiring biometric identification as applied to the bank violates the U.S. Constitution. The complaint seeks \$2 million in damages from State A as compensation for the bank’s lost profits. The complaint also seeks an injunction against the Superintendent of Banking to prevent her from taking any action to enforce the allegedly unconstitutional State A statute.

1. Can the bank maintain a suit in federal court against State A for damages? Explain.
2. Can the bank maintain a suit in federal court against the state Superintendent of Banking to enjoin her from enforcing the State A statute? Explain.
3. Is the State A statute unconstitutional? Explain.

SECURED TRANSACTIONS QUESTION

A garment manufacturer sells clothing to retail stores on credit terms pursuant to which the retail stores have 180 days after delivery of the clothing to pay the purchase price. Not surprisingly, the manufacturer often has cash-flow problems.

On February 1, the manufacturer entered into a transaction with a finance company pursuant to which the manufacturer sold to the finance company all of the manufacturer's outstanding rights to be paid by retail stores for clothing. The transaction was memorialized in a signed writing that described in detail the payment rights that were being sold. The finance company paid the manufacturer the agreed price for these rights that day but did not file a financing statement.

On March 15, the manufacturer borrowed money from a bank. Pursuant to the terms of the loan agreement, which was signed by both parties, the manufacturer granted the bank a security interest in all of the manufacturer's "present and future accounts" to secure the manufacturer's obligation to repay the loan. On the same day, the bank filed a properly completed financing statement in the appropriate filing office. The financing statement listed the manufacturer as debtor and the bank as secured party. The collateral was indicated as "all of [the manufacturer's] present and future accounts."

There are no other filed financing statements that list the manufacturer as debtor.

On May 25, the manufacturer defaulted on its repayment obligation to the bank. Shortly thereafter, the bank sent signed letters to each of the retail stores to which the manufacturer sold clothing on credit. The letters instructed each retail store to pay to the bank any amounts that the store owed to the manufacturer for clothing purchased on credit. The letter explained that the manufacturer had defaulted on its obligation to the bank and that the bank was exercising its rights as a secured party.

The finance company recently learned about the bank's actions. The finance company informed the bank that the finance company had purchased some of the rights to payment being claimed by the bank. The finance company demanded that the bank cease its efforts to collect on those rights to payment.

Meanwhile, some of the retail stores responded to the bank's letters by refusing to pay the bank. These stores contend that they have no obligations to the bank and that payment to the manufacturer will discharge their payment obligations.

1. As between the bank and the finance company, which (if either) has a superior right to the claims against the retail stores for the money the retail stores owe the manufacturer for clothing they bought on credit before February 1? Explain.
2. Are the retail stores correct that they have no obligations to the bank and that paying the manufacturer will discharge their payment obligations? Explain.

DECEDENTS' ESTATES/TRUSTS & FUTURE INTERESTS QUESTION

In 2012, Testator wrote by hand a document labeled "My Will." The dispositive provisions in that document read:

A. I give \$50,000 to my cousin, Bob;

B. I give my household goods to those persons mentioned in a memorandum I will write addressed to my executor; and

C. I leave the balance of my estate to Bank, as trustee, to hold in trust to pay the income to my child, Sam, for life and, when Sam dies, to distribute the trust principal in equal shares to his children who attain age 21.

After Testator finished writing the will, he walked into his kitchen where his cousin (Bob) and his neighbor were sitting. After showing them the will and telling them what it was but not what it said, Testator signed it at the end in their presence. Testator then asked Bob and his neighbor to be witnesses. They agreed and then signed, as witnesses, immediately below Testator's signature. The will did not contain an attestation clause or a self-proving will affidavit.

When the will was signed, Sam and his only child, Amy, age 19, were living. Testator also had an adult daughter.

In 2015, Testator saw an attorney about a new will because he wanted to change the age at which Sam's children would take the trust principal from 21 to 25. The attorney told Testator that he could avoid the expense of a new will by executing a codicil that would republish the earlier will and provide that, when Sam died, the trust principal would pass to Sam's children who attain age 25. The attorney then prepared a codicil to that effect, which was properly executed and witnessed by two individuals unrelated to Testator.

Two months ago, Testator died. The documents prepared by Testator and his attorney were found among Testator's possessions, together with a memorandum addressed to his executor in which Testator stated that he wanted his furniture to go to his aunt. This memorandum was dated three days after Testator's codicil was duly executed. The memorandum was signed by Testator, but it was not witnessed.

Testator is survived by his aunt, his cousin Bob, and Sam's two children, Amy, age 24, and Dan, age 3. (Sam predeceased Testator.) Testator is also survived by his adult daughter, who was not mentioned in any of the documents found among Testator's possessions.

This jurisdiction does not recognize holographic wills. Under its laws, Testator's daughter is not a pretermitted heir. The jurisdiction has enacted the following statute:

Any nonvested interest that is invalid under the common law Rule Against Perpetuities is nonetheless valid if it actually vests, or fails to vest, within 21 years after some life in being at the creation of the interest.

To whom should Testator's estate be distributed? Explain.

EVIDENCE/CRIMINAL LAW & PROCEDURE QUESTION

A woman is on trial for the attempted murder of a man whom she shot with a handgun on March 1. According to a State A police report:

The woman started dating the man in August. A few months later, after the woman broke up with him, the man began calling the woman's cell phone and hanging up without saying anything. In February, the man called and said, "I promise you'll be happy if you take me back, but very unhappy if you do not." The following week, to protect herself against the man, the woman lawfully bought a handgun.

On March 1, the woman was working late in her office. At 10:00 p.m., the man entered the woman's office without knocking. The woman immediately grabbed the gun and shot the man once, hitting him in the shoulder.

The police arrived at the scene at 10:10 p.m. By this time, a number of people had gathered outside the doorway of the woman's office. A police officer entered the office, and his partner blocked the doorway so that the woman could not leave and no one could enter. The officer immediately seized the gun from the woman and asked her, without providing Miranda warnings, "Do you have any other weapons?" She responded, "I have a can of pepper spray in my purse. Is that a weapon?"

At 10:20 p.m., after the woman had been arrested and the man taken to the hospital, a custodian told the police officer, "I didn't see the shooting, but I heard some noises in the hall around 10 and then a loud bang and screaming."

A few hours later, at the hospital, the man told the police officer that he had entered the woman's office just to speak with her and that the woman had shot him without provocation.

The woman will defend against the attempted murder charge on the ground that she acted in self-defense. In State A, self-defense is defined as "the use of force upon or toward another person when the defendant reasonably believes that such force is immediately necessary for the purpose of protecting himself against the use of unlawful force by such other person on the present occasion."

State A has adopted evidence rules identical to the Federal Rules of Evidence. State A follows the doctrine of the Supreme Court of the United States when interpreting protections provided to criminal defendants under the U.S. Constitution.

The prosecution and the defense have fully complied with all pretrial notice requirements, the authenticity of all the evidence has been established, and the court has rejected defense objections based on the Confrontation Clause.

The woman, the man, and the police officer will testify at trial. The custodian is unavailable to testify at trial.

Evidence/Criminal Law & Procedure Question

Under the Miranda doctrine and the rules of evidence, explain how the court should rule on the admissibility of the following evidence:

1. Testimony from the woman, offered by the defense, repeating the man's statement, "I promise you'll be happy if you take me back, but very unhappy if you do not."
2. Testimony from the police officer, offered by the prosecution, repeating the woman's statement, "I have a can of pepper spray in my purse. Is that a weapon?"
3. Testimony from the police officer, offered by the prosecution, repeating the custodian's statement, "I didn't see the shooting, but I heard some noises in the hall around 10 and then a loud bang and screaming."

CIVIL PROCEDURE/CONFLICT OF LAWS QUESTION

Taxes Inc. (“Taxes”) is a tax preparation business incorporated in State A, where it has its corporate headquarters. Taxes operates five tax preparation offices in the “Two Towns” metropolitan area, which straddles the border between State A and State B. Three of the Taxes tax preparation offices are located in Salem, State A; the other two are in Plymouth, State B.

A woman, a recent college graduate, was hired by Taxes and trained to work as a tax preparer in one of its offices in Salem, State A. The woman and Taxes entered into a written employment contract in State A that included a noncompete covenant prohibiting her from working as a tax preparer in the Two Towns metropolitan area for a period of 24 months after leaving Taxes’s employment. The employment contract also provided that it was “governed by State A law.”

After working for Taxes for three years, the woman quit her job with Taxes, moved out of her parents’ home in State A (where she had been living since her college graduation), and moved into an apartment she had rented in Plymouth, State B. Two weeks later, she opened a tax preparation business in Plymouth.

Taxes promptly filed suit against the woman in the federal district court for State A, properly invoking the court’s diversity jurisdiction. The complaint alleged all the facts stated above, claimed that the woman was preparing taxes in violation of the noncompete covenant in her employment contract, and sought an injunction of 22 months’ duration against her continued preparation of tax returns for any paying customers in the Two Towns metropolitan area.

Taxes delivered a copy of the summons and complaint to the home of the woman’s parents in State A (the address that she had listed as her home address when she was employed by Taxes). The process server left the materials with the woman’s father.

Each state has service-of-process rules identical to those in the Federal Rules of Civil Procedure.

Under State A law, covenants not to compete are valid so long as they are reasonable in terms of geographic scope and duration. The State A Supreme Court has previously upheld noncompete covenants identical to the covenant at issue in this case. When determining whether to give effect to a contractual choice-of-law clause, State A follows the Restatement (Second) of Conflict of Laws.

Under State B law, covenants not to compete are also valid if they are reasonable in scope and duration. However, the State B Supreme Court has held that noncompete covenants are unreasonable and unenforceable as a matter of law if they exceed 18 months in duration. While State B generally gives effect to choice-of-law clauses in contracts, it has a statute that provides that choice-of-law clauses in employment contracts are unenforceable. When there is no effective choice-of-law clause, State B follows the *lex loci contractus* approach to choice of law in contract matters.

Rather than file an answer to Taxes’s complaint, the woman filed a motion pursuant to Rule 12(b)(6) to dismiss the action for failure to state a claim upon which relief can be granted. The woman’s motion argued that the noncompete covenant is invalid and unenforceable as a matter of law. Two days after filing the motion to dismiss, and before Taxes had responded to

the motion, the woman filed an “amended motion to dismiss.” The amended motion sought dismissal on the same basis as the original motion (failure to state a claim), but also asked the court to dismiss the action for insufficient service of process.

1. Should the court consider the woman’s motion to dismiss for insufficient service of process? Explain.
2. If the court considers the woman’s motion to dismiss for insufficient service of process, should it grant that motion? Explain.
3. In ruling on the woman’s motion to dismiss for failure to state a claim, which state’s choice-of-law approach should the court follow? Explain.
4. Which state law should the court apply to determine the enforceability of the noncompete covenant? Explain.

July 2017 MEE Analyses

Torts

Constitutional Law

Secured Transactions

Decedents' Estates/Trusts & Future Interests

Evidence/Criminal Law & Procedure

Civil Procedure/Conflict of Laws

TORTS ANALYSIS

TOR II.E.1., F.2.; III.

ANALYSIS

Legal Problems:

- (1) Is a public fireworks display an abnormally dangerous activity subject to strict liability?
- (2) Based on the evidence submitted by the woman and her husband, could a reasonable jury find that the conduct of the fireworks company was negligent?
- (3) When is an actor's creation of a dangerous situation the proximate cause of injuries suffered by a person who was rushing to respond to the danger?
- (4) When is a person liable for the acts or omissions of an independent contractor employed by that person?

DISCUSSION

Summary

It is unclear whether the trial judge erred in ruling that a public fireworks display is not an abnormally dangerous activity subject to strict liability. Such a display is not a matter of common usage, as traditionally defined, and it presents substantial risks that cannot be eliminated with the exercise of reasonable care. However, some courts, relying on the Second Restatement of Torts factors, have found that public fireworks displays are not abnormally dangerous because of their value to the community.

The judge erred in directing a verdict for the defendants on the negligence claim because adherence to a statutory standard does not insulate a defendant from liability for negligence, and the evidence showed a foreseeable risk of harm and precautions that would have eliminated the risk without undue burden.

Because danger invites rescue, the trial judge erred in concluding that the misfiring mortar was not the proximate cause of the husband's injuries. The judge also erred in concluding that the homeowners association could not be held liable for the acts of the fireworks company, because one who employs an independent contractor is subject to liability for the contractor's failure to take reasonable precautions when there is a special danger inherent in the work, and the harm that occurred here was the result of a special danger inherent in fireworks displays.

Point One (40%)

The trial court's finding that a public fireworks display is not an abnormally dangerous activity subject to strict liability may or may not have been correct. A public fireworks display is not a matter of common usage and has substantial risks that cannot be eliminated. But some courts, relying on the Second Restatement of Torts factors, have found that public fireworks are nonetheless not abnormally dangerous because of their value to the community.

The modern doctrine of strict liability for abnormally dangerous activities derives from *Fletcher v. Rylands*, 159 Eng. Rep. 737 (1865), *rev'd*, 1 L.R.-Ex. 265, [1866] All E.R. 1, 6, *aff'd sub nom. Rylands v. Fletcher*, 3 L.R.-H.L. 330, [1868] All E.R. 1, 12, in which the defendant's reservoir flooded mine shafts on the plaintiff's adjoining land. *Rylands* has come to stand for the rule that "the defendant will be liable when he damages another by a thing or activity unduly dangerous and inappropriate to the place where it is maintained, in the light of the character of that place and its surroundings." W. Page Keeton et al., *Prosser and Keeton on Torts* § 78, at 547–48 (5th ed. 1984).

Today, the determination of whether an activity is unduly dangerous, and thus subject to strict liability, is generally governed by factors outlined in the Restatement of Torts. Under the First Restatement, strict liability applied to an "ultra-hazardous" activity. Under the Second and Third Restatements, strict liability applies to an "abnormally dangerous activity." Section 520 of the Restatement (Second) lists six factors that are to be considered in determining whether an activity is abnormally dangerous:

- (a) existence of a high degree of risk of some harm to the person, land or chattels of others;
- (b) likelihood that the harm that results from it will be great;
- (c) inability to eliminate the risk by the exercise of reasonable care;
- (d) extent to which the activity is not a matter of common usage;
- (e) inappropriateness of the activity to the place where it is carried on; and
- (f) extent to which its value to the community is outweighed by its dangerous attributes.

Restatement (Second) of Torts § 520 (1977). Comments to the Restatement explain that "several [factors are] ordinarily . . . required for strict liability [but] . . . it is not necessary that each of them be present. . . . The essential question is whether the risk created is so unusual, either because of its magnitude or because of the circumstances surrounding it, as to justify the imposition of strict liability for the harm that results from it, even though it is carried on with all reasonable care." *Id.*, comment f. The Second Restatement continued to define "common usage" narrowly. To be a matter of common usage, an activity must be carried on "by the great mass of mankind or by many people in the community." *Id.* at comment i (identical to comment e in the Restatement (First)).

As in the First Restatement, under the relatively new Third Restatement, the strict liability determination is based on only two factors. An activity is abnormally dangerous if (1) the activity creates a foreseeable and highly significant risk of physical harm even when reasonable care is exercised by all actors; and (2) the activity is not one of common usage. Restatement of Torts (Third) § 20(b). However, the Third Restatement employs a much broader definition of "common usage" than that of the First and Second Restatements. Under the Third Restatement,

“activities can be in common use even if they are engaged in by only a limited number of actors”:

Consider the company that transmits electricity through wires. . . . The activity itself is engaged in by only one party. Even so, electric wires . . . are pervasive within the community. Moreover, most people, though not themselves engaging in the activity, are connected to the activity. . . . The concept of common usage can be extended further to activities that, though not pervasive, are nevertheless common and familiar within the community. If in this sense the activity is normal, it is difficult to regard the activity as exceptional or abnormally dangerous.

Id., comment j.

On the other hand, § 20 comment k specifies that “the value that the defendant or others derive from the activity is not a direct factor in determining whether the activity is abnormally dangerous.” *Id.*, comment k. It is thus unclear whether, under the Third Restatement, more or fewer activities would be classified as abnormally dangerous than under the Second Restatement.

The classic example of an abnormally dangerous activity is blasting. Courts in virtually all jurisdictions have held that this activity is subject to strict liability, citing its potential for extensive harm, the fact that it is not a matter of common usage, and the actors’ inability to eliminate risk. *See, e.g., Spano v. Perini Corp.*, 250 N.E.2d 31 (N.Y. 1969).

Courts have divided as to whether legal fireworks displays should be classified as abnormally dangerous and thus subject to strict liability. *Compare Miller v. Westcor Ltd. Partnership*, 831 P.2d 386 (Ariz. Ct. App. 1992), and *Klein v. Pyrodyne Corp.*, 810 P.2d 917 (Wash. 1991) (imposing strict liability), with *Litzmann v. Humboldt County*, 273 P.2d 82, 88 (Cal. Dist. Ct. App. 1954); *Cadena v. Chicago Fireworks Mfg. Co.*, 697 N.E.2d 802 (Ill. App. Ct. 1998); and *Haddon v. Lotito*, 161 A.2d 160 (Pa. 1960) (finding no strict liability).

Courts that have classified fireworks displays as abnormally dangerous have tended to focus on the fact that fireworks are much like blasting in that “[a]nytime a person ignites aerial shells or rockets with the intention of sending them aloft to explode in the presence of large crowds of people, a high risk of serious personal injury or property damage is created. . . . Furthermore, no matter how much care pyro-technicians exercise, they cannot entirely eliminate the high risk inherent in setting off powerful explosives such as fireworks near crowds.” *Klein, supra*. Courts that have declined to classify legal fireworks displays as abnormally dangerous have tended to focus on their value to the community. *See Lipka v. DiLungo*, No. CV-407399, 2000 WL 295355 (Conn. Super. Ct. Mar. 8, 2000).

Under the limited factors of the First and Third Restatements, the case for holding that public fireworks displays are abnormally dangerous is very strong. This activity is not one carried on by the “mass of men” given that it is legally performed only by trained, licensed personnel. Its risks, given the large number of people who watch such displays, cannot be eliminated.

Torts Analysis

Using the multiple-factor approach of the Second Restatement, one can justify a finding that fireworks displays are not abnormally dangerous based on their popularity and value to the community and relatively low risk to any particular individual. Under the Third Restatement, the value of fireworks to the community would be irrelevant, but it might be characterized as a matter of common usage given that fireworks, like electrical wires, are pervasive, at least on certain holidays.

Thus, it is unclear whether the trial court erred in finding that public fireworks displays are not an abnormally dangerous activity. However, if the court relied on the Second Restatement, other courts have reached the same conclusion. The court's conclusion could also be justified under the Third Restatement given its novel definition of common usage.

[NOTE: An examinee's conclusion is less important than his or her reasoning on whether a public fireworks display is an abnormally dangerous activity. A good answer need not analyze each theory discussed above.]

Point Two (25%)

The trial judge incorrectly directed a verdict for the fireworks company on the negligence claim. Adherence to a statutory standard does not insulate a defendant from liability for negligence, and the evidence showed a foreseeable risk of harm that precautions would have reduced without undue burden.

Although the unexcused violation of a statutory standard of care is negligence per se, the converse is not true: an actor who has complied with all statutory standards may still be found negligent if his conduct is not reasonable under the circumstances. In judging whether an actor's conduct is reasonable, the trier of fact will consider the burden of taking precautions as compared to the risks inherent in the actor's conduct and the probability that those risks will materialize. *See* Richard A. Epstein, *Torts* § 6.5 (1999).

Here, all the fireworks company's employees were state-certified fireworks technicians, and the company followed all governmental fireworks regulations. However, the plaintiffs' evidence established that there was a foreseeable risk of a misfiring mortar even when the fireworks display was performed with due care; the risk of misfire cannot be eliminated. The evidence also established that a misfiring mortar can cause death or serious injury to a bystander. Nationally, accidents involving fireworks cause about 9,000 injuries and 5 deaths each year. About 15% of fireworks accidents are caused by mortars misfiring in the course of professional fireworks displays, and some of these accidents occur despite compliance with governmental fireworks regulations.

In recognition of the risks associated with the discharge of fireworks, a state statute imposes a 500-foot safety zone for fireworks displays on land. Although the statute does not refer to fireworks displays on water, it arguably provides a reasonable standard for determining a safety zone for a fireworks display on water. The evidence also showed that a 500-foot safety zone

would not have hindered spectators at the lake fireworks display to any significant extent, as only four potential viewing spots lie within this area. Because the fireworks company's employees were all state-certified fireworks technicians, a reasonable jury could have concluded that both the risk of injury and the utility of a 500-foot safety zone were known to the fireworks company. It could also have concluded that the fireworks company or the homeowners association, with very little cost or inconvenience, could have identified the four viewing spots within the 500-foot safety zone and warned potential spectators of the hazard of watching from those locations.

Thus, the court erred in directing a verdict for the fireworks company on the negligence issue: adherence to a statutory standard does not insulate an actor from liability, and there was evidence on which a jury could have based a negligence finding.

Point Three (15%)

The trial court incorrectly found that the misfiring mortar was not the proximate cause of the husband's injuries because danger invites rescue.

Liability typically extends only to individuals within the zone of risk. If an actor's conduct "creates a recognizable risk of harm only to a particular class of persons, the fact that it causes harm to a person of a different class, to whom the actor could not reasonably have anticipated injury, does not render the actor liable to the persons so injured." Restatement (Second) of Torts § 281, comment c. Liability also typically extends only to foreseeable hazards. The actor whose conduct is responsible for an altogether unexpected type of injury usually escapes liability. *See Palsgraf v. Long Island Railroad*, 162 N.E. 99 (N.Y. 1928).

Here, because the husband was inside his house, he was probably outside the area in which risks from a fireworks display were to be anticipated. He also suffered a different injury (fracture) from that which one would usually anticipate (burns, impact harm) from fireworks exposure.

However, courts have long held that injuries sustained when running from danger are foreseeable. *See, e.g., Tuttle v. Atlantic City R.R.*, 49 A. 450 (N.J. 1901). They have also held that "danger invites rescue." *Wagner v. International Ry. Co.*, 133 N.E. 437 (N.Y. 1921). "The wrong that imperils life is a wrong . . . to his rescuer." *Id.* Thus, because the husband was a rescuer and his injuries are typical of those an individual rushing from (or to) a dangerous situation would sustain, the trial court erred in concluding that the acts and omissions of the homeowners association and the fireworks company were not the proximate cause of his injuries.

Point Four (20%)

The trial court incorrectly found that the homeowners association could not be held liable for the fireworks company's acts or omissions. One who employs an independent contractor is subject to liability for the contractor's failure to take reasonable precautions as to danger inherent in the work.

An independent contractor is one who, by virtue of his contract, possesses independence in the manner and method of performing the work he has contracted to perform for the other party to

Torts Analysis

the contract. Independent contractors are usually paid by the job instead of receiving ongoing salaries; the individual who hires an independent contractor typically does not supervise the contractor's activities or retain a right to control his activities. *See Epstein, supra*, § 9.11. The fireworks company is an independent contractor: it was hired by the homeowners association for a specific job, to plan and manage the fireworks display. The homeowners association did not supervise the fireworks company's work or have any control over its operations.

Typically, one who employs an independent contractor is not vicariously liable for the contractor's acts or omissions. But when an actor "employs an independent contractor to do work involving a special danger to others which the employer knows or has reason to know to be inherent in or normal to the work . . . [he] is subject to liability for physical harm caused to such others by the contractor's failure to take reasonable precautions against such danger." Restatement (Second) of Torts § 427.

Here, the homeowners association had reason to know that fireworks are inherently risky; thousands of fireworks injuries occur each year, and the risk cannot be eliminated even when fireworks are used by experts. Thus, the trial court's conclusion that the association could not be held liable for the fireworks company's acts was erroneous.

CONSTITUTIONAL LAW ANALYSIS

CNL I.B.2.; III.B.1.

ANALYSIS

Legal Problems:

- (1) Can a private company maintain a suit against a state in federal court seeking damages based upon a claim that the state injured its business by enforcing an unconstitutional law?
- (2) Can a private company maintain a suit against a state official in federal court to enjoin that official from enforcing an allegedly unconstitutional law?
- (3) Does a state law that requires a multistate business to adopt expensive security measures as a condition of providing certain services in the state impose an unconstitutional burden on interstate commerce?

DISCUSSION

Summary

The bank cannot maintain a suit against State A for damages in federal court. The Eleventh Amendment precludes the federal court from exercising jurisdiction over a suit by a private party seeking to recover damages from a state.

The court can hear the bank's claim against the Superintendent of Banking because the bank has sued the superintendent in her official capacity and is seeking injunctive relief only.

Although the statute does not discriminate against interstate commerce, it does impose a significant burden on interstate commerce. A court could conclude that the law unconstitutionally burdens interstate commerce if the court finds that the burden imposed is clearly excessive in relation to the purported benefits. A balancing of benefits and burdens would require the court to evaluate the extent of the actual burden the statute imposes on the bank and whether the statute has substantial fraud-protection benefits.

Point One (30%)

Because states are immune under the Eleventh Amendment from suits for damages in federal court, a federal court would dismiss the bank's damages claim against State A if State A made a claim of sovereign immunity.

The Eleventh Amendment provides that "the Judicial power of the United States" does not extend to "any suit in law or equity, commenced or prosecuted against one of the United States by Citizens of another State" U.S. Const. amend. XI. As "one of the United States," State A is immune from suit unless it agrees to be sued. While this immunity of States from suits has been described as an "anachronistic survival of monarchical privilege," it is nonetheless firmly established. *Kennecott Copper Corp. v. State Tax Comm.*, 327 U.S. 573, 580 (1946)

(Frankfurter, J., dissenting). While a state may waive its immunity, *see Clark v. Barnard*, 108 U.S. 436, 447 (1883), there is no evidence that State A has done so in this case. Here, the bank, a resident of State B, is suing State A for damages in federal court; this is barred by the Eleventh Amendment.

[NOTE: A state's Eleventh Amendment immunity may be abrogated in certain circumstances by congressional action under Congress's enforcement powers in the Fourteenth Amendment. There is no such action by Congress in this case, so the exception is not germane.]

Point Two (30%)

Pursuant to the doctrine of *Ex parte Young*, a suit against State A's Superintendent of Banking to enjoin the enforcement of an allegedly unconstitutional statute is not barred by the Eleventh Amendment.

"Official-capacity actions [against state officials] for prospective relief are not treated as actions against the State." *Kentucky v. Graham*, 473 U.S. 159, 167 n. 14 (1985), *citing Ex parte Young*, 209 U.S. 123 (1908). Thus, even when a damages claim against the state is barred under the Eleventh Amendment, a suit against public officials in their official capacity seeking an injunction may be maintained.

Here, the bank could maintain an action in federal court against State A's Superintendent of Banking in her official capacity to enjoin enforcement of an allegedly unconstitutional law.

[NOTE: An examinee might also point out that the federal court would have jurisdiction over this suit because the bank's claim raises a federal question.]

Point Three (40%)

Although the statute does not discriminate against interstate commerce, it does impose a significant burden on interstate commerce. A court could conclude that the law unconstitutionally burdens interstate commerce if the court determines that the burden imposed is clearly excessive in relation to the purported benefits.

The Supreme Court of the United States has long held that the Constitution's grant to Congress of the power to regulate interstate commerce also limits, by implication, the right of state or local governments to adopt laws that regulate interstate commerce. *See* John E. Nowak & Ronald D. Rotunda, *Constitutional Law* § 8.1 (8th ed. 2010). This is often referred to as "dormant commerce clause" analysis. A state law that discriminates against interstate commerce in a way "that operates as . . . a tariff or trade barrier against out-of-state interests" is subject to strict review and is virtually per se unconstitutional. *Id. See, e.g., C & A Carbone, Inc. v. Clarkstown*, 511 U.S. 383 (1994). A nondiscriminatory state law that imposes an "incidental" burden on interstate commerce will nonetheless be unconstitutional if the burden it imposes is "clearly excessive in relation to the putative local benefits." *Pike v. Bruce Church, Inc.*, 397 U.S. 137, 142 (1970).

The State A law in this case is facially nondiscriminatory. It applies equally to local banks and to banks from other states. There are also no facts to suggest that it operates in a discriminatory fashion or that it imposes a heavier burden on out-of-state banks offering services to State A businesses than it imposes on in-state banks.

Because the law “regulates evenhandedly,” the question is whether it “effectuate[s] a legitimate local public interest” and whether the burden, if any, is “clearly excessive in relation to the putative local benefits.” *Id.*

State A plainly has a “legitimate local public interest” in protecting local businesses from the significant losses that can result from electronic funds transfer fraud. State A’s law seeks to reduce such fraud by requiring banks to adopt certain security measures that the legislature believes will reduce the risk of such fraud. The legislature’s judgment that biometric identification is superior to other anti-fraud techniques is not a judgment that a court will normally second-guess. State A adopted its law in response to lobbying by a local business that stands to benefit from the law. But that does not mean that the law does not serve a legitimate state interest. *Cf. Minnesota v. Clover Leaf Creamery Co.*, 449 U.S. 456, 466 (1981) (court accepts judgment of Minnesota legislature that a ban on plastic nonreturnable milk containers serves environmental goals despite contrary evidence suggesting that such a ban would cause continued use of “ecologically undesirable paperboard milk containers.”). However, it is unclear whether the security measures required by State A produce real and substantial benefits.

The benefits of the law must be weighed against the burden it imposes. The law burdens interstate commerce by increasing the expenses of out-of-state banks that wish to offer certain electronic banking services to State A businesses. Compliance with the law would require the bank to make substantial changes to its entire electronic banking system at a cost of \$50 million. This cost is substantial enough to deter the bank from offering certain services in State A at all. A court could find that this is a real and substantial burden placed on interstate commerce.

In sum, if the benefits of the security measures required by State A are substantial enough to justify the burdens, the statute is constitutional. Otherwise, it is not.

SECURED TRANSACTIONS ANALYSIS

SEC I.B.; II.A., D.; III.B.; IV.A., B., F., J.

ANALYSIS

Legal Problems:

- (1)(a) What are the rights of a buyer of accounts (i.e., the finance company) that has not filed a financing statement?
- (1)(b) What are the rights of a party (i.e., the bank) to whom a security interest in accounts has been granted if that secured party has filed a financing statement?
- (1)(c) If a buyer of accounts has not filed a financing statement, what are that buyer's rights against a party to whom a security interest in those accounts has been subsequently granted and who has filed a financing statement?
- (2) May an account debtor discharge its obligation on an account that has been assigned by paying the assignor even after the account debtor learns that the account has been assigned?

DISCUSSION

Summary

The sale of payment rights from the manufacturer to the finance company is a sale of accounts governed by Article 9 of the Uniform Commercial Code. Because the finance company did not file a financing statement, it has an unperfected security interest in the accounts. By contrast, the bank subsequently was granted a security interest in the same accounts, and that security interest was perfected. Accordingly, the perfected security interest of the bank has priority over the finance company's unperfected interest in the accounts.

The retail stores are incorrect that they have no obligations to the bank. Because the retail stores received an authenticated (signed) notification of the assignment of their accounts to the bank, they can discharge their obligations *only* by paying the bank.

Point One(a) (30%)

The sale by the manufacturer to the finance company of the right to be paid by the retail stores for items of clothing is a sale of accounts governed by Article 9 of the UCC, and the finance company is said to have a "security interest." Because the finance company did not file a financing statement, this security interest is unperfected.

The sale by the manufacturer to the finance company of the right to be paid by the retail stores is a sale of "accounts" as that term is defined in Article 9 of the Uniform Commercial Code. UCC § 9-102(a)(2). A sale of accounts is governed by UCC Article 9 even though the transaction is not one in which property secures an obligation. UCC § 9-109(a)(3). (There are a few exceptions to Article 9's coverage of sales of accounts, but they are not germane to this problem. *See generally* UCC § 9-109(c)–(d).) Because Article 9 governs a sale of accounts, Article 9

vocabulary is applied to the sale, so that the rights of the buyer of the accounts are referred to as a “security interest,” the sold accounts are “collateral,” the seller (the garment manufacturer in this problem) is the “debtor,” and the buyer (the finance company in this problem) is the “secured party.” *See* UCC §§ 1-201(b)(35) and 9-102(a)(12), (28), and (73). Moreover, because the agreement of sale is “an agreement that creates or provides for a security interest,” it is a security agreement. UCC § 9-102(a)(74).

The finance company’s security interest is enforceable and has attached because the three criteria in UCC § 9-203(b) are satisfied: (i) “value” has been given inasmuch as the finance company has paid the purchase price (*see* UCC § 1-204), (ii) the debtor (the manufacturer) had rights in the collateral (the accounts sold), and (iii) the debtor “authenticated” (signed or its electronic equivalent, *see* UCC § 9-102(a)(7)) a security agreement containing a description of the collateral. The finance company’s security interest, however, is not “perfected” because no financing statement has been filed with respect to the transaction. *See* UCC §§ 9-308, 9-310.

Accordingly, the finance company has an unperfected security interest in the rights to be paid by the retail stores.

Point One(b) (30%)

The manufacturer granted to the bank an enforceable and attached security interest in the right to be paid by the retail stores. Because the bank filed a financing statement with respect to this security interest, the bank’s security interest is perfected.

The bank also has an enforceable and attached security interest in the right to be paid by the retail stores that bought clothing from the manufacturer on credit. First, value has been given because the bank loaned money to the manufacturer. *See* UCC § 9-203(b)(1). Second, the debtor (the manufacturer) still had rights in the collateral. *See* UCC § 9-203(b)(2). This is the case because even though the manufacturer had already sold the accounts to the finance company, the finance company’s interest was unperfected. *See* UCC § 9-318(b). Third, the manufacturer authenticated (signed, in this case) a security agreement containing a description of the collateral (the accounts). *See* UCC § 9-203(b)(3)(A).

Unlike the finance company’s security interest, the bank’s security interest is perfected because the bank filed a properly completed financing statement. *See* UCC §§ 9-308, 9-310(a).

[NOTE: An examinee might mistakenly assert that the bank does not have an enforceable security interest in the pre-February 1 accounts because one of the three elements of an enforceable and attached security interest (that the debtor had rights in the collateral) is not satisfied inasmuch as the garment manufacturer had previously sold those accounts to the finance company. This assertion would be accurate if the finance company had perfected its interest, but, as indicated in UCC § 9-318(b) and noted in Point One(b) of the analysis, if a buyer of accounts does not perfect its interest, the seller is treated as continuing to have rights in those accounts. Thus, in this case, the manufacturer continues to have sufficient rights in the pre-February 1 accounts for the bank’s security interest to attach.

Nonetheless, an examinee who makes that mistaken assertion should receive some credit for recognizing that a debtor must have rights in the collateral for a creditor to have an enforceable security interest in that collateral. Such an examinee should also conclude that, because the bank has obtained no rights in the pre-February 1 accounts from the garment manufacturer, the retail stores would have no obligation to pay the bank amounts due on those accounts even after receiving the notifications of assignment from the bank. *See* Point Two. An examinee who reaches that conclusion based on the mistaken assertion should receive full credit if the examinee also correctly notes that the bank has a right to collect from the retailers on the post-February 1 accounts (which were not sold to the finance company). Conversely, an examinee who asserts, in answer to the first question, that the bank does not have an enforceable security interest but nonetheless concludes, in answer to the second question, that the retail stores must pay the bank to discharge their payment obligation on the pre-February 1 accounts, should not receive credit for that conclusion inasmuch as, under UCC § 9-406(a), the bank would not be an assignee and its notice to the retail stores would have no effect.]

Point One(c) (20%)

The finance company's unperfected security interest in the rights to be paid by the retail stores is subordinate to the bank's perfected security interest in those rights.

An unperfected security interest is subordinate to a perfected security interest in the same property (*see* UCC §§ 9-317(a)(1) and 9-322(a)(2)). Therefore, because the finance company's security interest in the rights to be paid by the retail stores is unperfected while the bank's security interest in those rights is perfected, the finance company's interest in those rights is subordinate to the bank's security interest in them. This is the case even though the sale of the rights to the finance company occurred before the bank was granted a security interest in them.

Point Two (20%)

Because the retail stores received authenticated (signed) notifications of the assignment of their accounts to the bank and directions to pay the bank, they can discharge their obligations on the accounts only by paying the bank, the assignee.

The retail stores are "account debtors" on the accounts. UCC § 9-102(a)(3). Under UCC § 9-406(a), an account debtor with respect to assigned accounts is entitled to discharge its obligation by paying the assignor only until the account debtor receives notice of the assignment to the assignee, authenticated by either the assignor or the assignee, directing the account debtor to make payment to the assignee. Once such a notice has been received, the account debtor is entitled to discharge only by paying the assignee. The retail stores have received a notice of the assignment authenticated (signed) by the assignee (the bank) directing them to pay the assignee. Accordingly, under UCC § 9-406(a), the retail stores can discharge their obligations on the accounts only by paying the bank (the assignee).

[NOTE: When an account debtor receives notification of an assignment, the account debtor may request reasonable proof that the assignment has been made and, until such proof is furnished, may still discharge its obligation by paying the assignor. *See* UCC § 9-406(c). Under these facts, there is no indication that any of the retail stores (the account debtors) requested such proof.]

DECEDENTS' ESTATES/TRUSTS & FUTURE INTERESTS ANALYSIS

DEC II.A.4., A.5., C. / TRU II.F.

ANALYSIS

Legal Problems:

- (1) Was Testator's will validly executed?
- (2) Is Bob, an interested witness, entitled to take the \$50,000 bequest because Testator's codicil stated that he republished his will?
- (3) Is the handwritten memorandum signed by Testator disposing of his household goods valid to distribute that property to his aunt?
- (4) Under this jurisdiction's statute, is Testator's bequest of the balance of his estate to Sam's children who attain age 25 valid, or does it pass to Testator's heirs?

DISCUSSION

Summary

Testator's will was validly executed because it was executed in a manner that satisfies the statute of wills in every state: Testator declared the document to be his will to the witnesses, the witnesses acted at his request, Testator signed it at the end, in the presence of the witnesses, and they signed in his presence and in the presence of each other.

Although, at common law, a will was invalid if witnessed by an interested witness (a witness taking a bequest under the will), that is not the law in any state today. Instead, if a will is witnessed by an interested witness, it is valid, but the bequest to the interested witness is either unaffected or, in many states, is forfeited unless the will was also witnessed by two disinterested witnesses. However, even in the latter states, the bequest to Bob would be saved because the codicil, which was witnessed by two disinterested witnesses, republished the will in its entirety. Thus, the original will is deemed to have been witnessed by the witnesses to the codicil and not by Bob and the neighbor.

Many states statutorily validate the bequest of tangibles even though contained in an unwitnessed holographic writing signed after the will was executed. However, without such a statute, the memorandum would not be valid under the incorporation-by-reference doctrine to dispose of Testator's household goods because it was not in existence when the will or the codicil was signed.

The bequest to the grandchildren is valid under the common law Rule Against Perpetuities. Because Sam predeceased Testator, the grandchildren are the validating measuring lives under the Rule Against Perpetuities. Thus, the residue of Testator's estate passes to Sam's children who reach 25, or if none, to Testator's heirs.

Point One (30%)

Testator's will was validly executed.

Every statute of wills has formalities that must be met for a will to be validly executed. These invariably include a writing, a signature of the testator, and at least two witnesses. All of these requirements were met here. Additional requirements may apply, including a requirement that the will be declared as such to the witnesses, that the testator request the witnesses to sign, and that the testator sign the will at the end. These requirements were met here, too. Thus, the will complies with every statute of wills. *See generally* William M. McGovern, Sheldon F. Kurtz & David M. English, *Wills, Trusts, and Estates* 197–200 (4th ed. 2010).

Under the common law, Testator's will would be invalid because one of the witnesses was an interested witness (i.e., a witness to whom a bequest was made under the will). *Id.* at 206. Today, however, no state applies that harsh rule. *See, e.g.*, Unif. Prob. Code § 2-505(b) ("The signing of a will by an interested witness does not invalidate the will or any provision of it.").

[NOTE: The fact that the will was handwritten does not alter this analysis because the will was signed and witnessed. Therefore, it is not governed by the laws relating to holographic wills.]

Point Two (30%)

The bequest to Bob, an interested witness, was not forfeited. In some states, this is because Testator's will was republished by a codicil that was witnessed by two disinterested witnesses. In other states, this is because bequests to interested witnesses are never forfeited.

Some states provide by statute that a bequest to an interested witness is void unless the will is witnessed by two disinterested witnesses. *See, e.g.*, Iowa Code § 633.281; NY EPTL § 3-3.2. The policy underlying these interested-witness statutes is to discourage fraud or undue influence.

However, under the republication-by-codicil doctrine, defects in a previously validly executed will can be cured if the will is "republished" in the properly executed codicil. *See* McGovern et al., *supra*, at 295. The doctrine effectively treats the portions of the original valid will that are not inconsistent with the terms of the codicil as recited in the codicil and witnessed by the witnesses to the codicil. Curing an interested witness problem by codicil is a classic example of the republication-by-codicil doctrine. *See, e.g., King v. Smith*, 302 A.2d 144 (N.J. Super. 1973). Thus, in states that require disinterested witnesses, the bequest to Bob would nonetheless be valid because the will which he witnessed was later republished by a codicil, which itself was witnessed by two disinterested witnesses.

Some states follow the Uniform Probate Code approach and simply permit interested witnesses to take their bequests. *See* UPC § 2-505(b). In those states, Bob's bequest was valid even though he was a witness to the will and republication was not necessary to save that.

Point Three (30%)

In some states, the aunt is not entitled to the furniture because a will may not incorporate an unattested document written after the execution of the will. In many states, however, a testator may dispose of tangible personal property in an unattested memorandum signed after his will was executed if the will includes language evidencing an intent to give effect to the writing.

At common law, the aunt would not take the furniture under the unattested memorandum because it was executed after both the will and the codicil were signed, and thus it was not incorporated by reference into either of those documents. Under the incorporation-by-reference doctrine, only documents in existence when the will was signed can be incorporated by reference. *See generally* McGovern et al., *supra*, 294–295.

Many states, however, have enacted statutes allowing a testator to dispose of tangible personal property by a memorandum signed *after the execution of the will* if the will evidences an intent to dispose of the tangibles in that manner. *See, e.g.*, Unif. Prob. Code § 2-513 (which is fairly typical). The writing here meets the requirements of such a statute in that (1) it was signed, and it described the gifted items with sufficient particularity so that the gifted items are readily identifiable. In such states, the aunt is entitled to the furniture.

Point Four (10%)

Testator's bequest to Sam's children who attain age 25 is valid and does not violate the common law Rule Against Perpetuities (RAP) or the statute because the gift vests or fails to vest within their own lifetimes.

Under the common law RAP, “no interest is good unless it must vest, if at all, within 21 years of some life in being at its creation.” *Gray's Rule Against Perpetuities* (1891). With respect to wills, the beneficiary's interests are created at the testator's death—not at the time the will is executed—because wills are “ambulatory” and can be revoked or changed at any time up to the testator's death. *See generally* McGovern et al., *supra*, 495.

In his will (as amended by the codicil), Testator bequeathed the balance of his estate to Sam for life, with a remainder to Sam's children who attain age 25. Because Sam predeceased Testator, the intended life estate never became effective, leaving the class gift to Sam's children who attain age 25. Because neither child has reached 25 at Testator's death, the children's interest will remain in trust until they reach the applicable age.

A class gift will vest for purposes of the RAP when the class is closed and all members of the class have met any conditions precedent. Here, the class of “Sam's children” closed when Sam died, leaving his two surviving children as the only potential beneficiaries of the gift. As a result, the two children are “lives in being” for purposes of the RAP, and the only question left is whether they will satisfy the age contingency. *Id.*, at 498. This event is certain to be resolved within their lifetimes because either they will satisfy the contingency and take the gift or they will die before reaching age 25 and the gift will fail. Accordingly, the children are able to serve

as their own validating lives, making their residuary gift valid under the common law rule. Because the gift is valid under the common law rule, the jurisdiction's wait-and-see statute is inapplicable.

Thus, the balance of Testator's estate should be distributed to the trustee to hold in trust and to distribute the assets to Sam's two children, when and if they attain age 25. *See generally id.*, at 496–97. However, their shares will be lost if they fail to attain age 25. If both Amy and Dan meet the age contingency, each takes one half. If only one does, that one takes the whole. And if neither does, the residue passes to Testator's heirs.

[NOTE: An examinee who wrongly concludes that the gift to Sam's children violates the rule should conclude that the balance of Testator's estate passes to his daughter and to Sam's two children as partial intestate property.]

ANALYSIS

Legal Problems:

- (1) Is a victim's out-of-court statement admissible when offered not to prove the truth of the matter asserted in the statement, but solely because it is relevant to prove the criminal defendant's reasonable fear of the victim?
- (2)(a) Does admission of a criminal defendant's out-of-court statement to a police officer, taken during custodial interrogation and without Miranda warnings or a waiver of Miranda rights by the defendant, fit the well-established Miranda public safety exception when the police officer asked a single question to secure weapons immediately after a shooting?
- (2)(b) Is a criminal defendant's out-of-court statement offered by the prosecution admissible as an opposing party's statement because it is not hearsay?
- (3) Under what circumstances is a witness's out-of-court statement admissible under the present-sense-impression or excited-utterance exceptions to the hearsay rule?

Summary

DISCUSSION

The court should admit testimony from the woman repeating the man's out-of-court statement to the woman ("I promise you'll be happy if you take me back, but very unhappy if you do not.") The statement is relevant to her self-defense claim because it helps prove that the woman had a reasonable fear of the man on the night of the shooting. The statement is not hearsay because it would not be offered by the defense to prove the truth of the matter asserted in the statement, and the woman's beliefs are relevant to assessing the reasonableness of her fear of the man.

The court should also admit testimony from the police officer repeating the woman's statement to the police officer ("I have a can of pepper spray in my purse. Is that a weapon?"). Her statement to the police officer is relevant because it could help the prosecution prove that, when the woman shot the man rather than using her pepper spray, she used greater force than was necessary under the circumstances. Admission of the statement does not violate Miranda because the statement fits the well-established public safety exception. Here, the single question was limited to weapons and the police officer's objective was to secure the scene and ensure public safety. Finally, the woman's statement is not hearsay when offered by the prosecution because it is an opposing party's statement.

The court might admit testimony from the police officer repeating the custodian's out-of-court statement to the police officer ("I didn't see the shooting, but I heard some noises in the hall around 10 and then a loud bang and screaming."). The statement is relevant because it helps to establish the time and place of the alleged crime. It is hearsay, but it may fit the hearsay

exception for present sense impressions. The statement may also fit the hearsay exception for excited utterances if the court finds that the custodian was startled by what he heard and that he remained “under the stress of excitement” when he made the statement.

Point One (25%)

The court should admit testimony from the woman repeating the man’s out-of-court statement to the woman (“I promise you’ll be happy if you take me back, but very unhappy if you do not.”) because it is relevant to prove the woman’s reasonable fear of the man and is not hearsay.

Here the man’s statement to the woman is relevant because it has a tendency to make a fact (i.e., the woman’s reasonable fear of the man) “more . . . probable than it would be without the evidence.” Fed. R. Evid. 401. The woman’s fear of the man is essential to her self-defense claim under the State A standard because she must prove that when she shot the man, she “reasonably believe[d]” that her use of force was “immediately necessary for the purpose of protecting [her]self against the use of unlawful force by [an]other person.” Like all criminal defendants, the woman has a due process right to present a defense, and the defense seeks to use the man’s statement to substantiate her self-defense claim. *See Chambers v. Mississippi*, 410 U.S. 284 (1973).

Although the man’s statement was made outside of court, it would not be hearsay if offered to prove the woman’s reasonable fear. The Federal Rules of Evidence define hearsay as “a statement that (1) the declarant does not make while testifying at the current trial or hearing; and (2) a party offers in evidence to prove the truth of the matter asserted in the statement.” Fed. R. Evid. 801(c). Under this definition, an out-of-court statement is hearsay *only* when it is offered to prove “the truth of the matter asserted in the statement.” *See McCormick on Evidence* 424 (6th ed. 2006) (“When conduct or statements . . . are not used to prove the truth of the matter asserted, the statement should generally not be treated as hearsay because it does not fit the literal definition and because under these circumstances the danger of insincerity is usually significantly reduced.”).

Here, the man’s out-of-court statement is relevant to assessing the reasonableness of the woman’s fear *regardless* of whether the jury believes that the man’s statement is true. Specifically, the jury does not need to decide whether the man actually would have made the woman “happy” or “unhappy” to conclude that her fear of the man was reasonable. Accordingly, when offered by the defense, this statement should be admitted.

Point Two(a) (30%)

The court should find that the police officer did not violate the woman’s Miranda rights by asking her “Do you have any other weapons?” before providing Miranda warnings and obtaining a waiver because this fits the well-established Miranda public safety exception.

Typically, a person who is in police custody must first receive Miranda warnings and waive Miranda rights before being subjected to interrogation. *Miranda v. Arizona*, 384 U.S. 436,

444 (1966). For Miranda purposes, custody is established if a reasonable person under similar circumstances would believe she was not free to leave. *See Berkemer v. McCarty*, 468 U.S. 420 (1984). For Miranda purposes, interrogation is established by “either express questioning or its functional equivalent” by the police. *See Rhode Island v. Innis*, 446 U.S. 291, 292 (1980). If Miranda has been violated, a court should bar the prosecution from introducing the defendant’s statement during its case-in-chief. However, Miranda warnings are not required for all custodial interrogations. For over three decades, the Court has consistently upheld a public safety exception to the Miranda requirements. *See New York v. Quarles*, 467 U.S. 649 (1984).

Here, the police officer engaged in custodial interrogation without first giving the woman Miranda warnings. The woman was in custody because a reasonable person would have not felt free to leave her office after she had shot someone, two police officers had arrived to investigate and had seized her gun, and one of the officers had blocked her doorway. The woman was under interrogation because the police officer asked her a direct question. However, limited interrogation without Miranda warnings, when intended to protect public safety, fits the Miranda public safety exception. Here, the police officer asked a single question about additional weapons intended to secure his own safety and the safety of the people gathered nearby. Thus, the court should find that the police officer did not violate the woman’s Miranda rights.

Point Two(b) (15%)

The court should admit testimony from the police officer repeating the woman’s out-of-court statement (“I have a can of pepper spray in my purse. Is that a weapon?”). The statement is relevant, and it is not hearsay because it is an opposing party’s statement.

The woman’s statement is relevant to the prosecution’s case because it could help the prosecution prove that, when the woman shot the man rather than using her pepper spray, she used greater force than was “immediately necessary for the purpose of protecting [her]self against the use of unlawful force” under State A self-defense law. Fed. R. Evid. 401.

The woman’s statement is not hearsay when offered by the prosecution. Out-of-court statements by a party are not hearsay if “offered against an opposing party and . . . made by the party in an individual . . . capacity.” Fed. R. Evid. 801(d)(2)(A).

Point Three (30%)

The court should find the testimony from the police officer repeating the custodian’s out-of-court statement (“I didn’t see the shooting, but I heard some noises in the hall around 10 and then a loud bang and screaming.”) relevant. The court might find that the statement meets either the present-sense-impression or excited-utterance exception to the rule against hearsay.

The custodian’s out-of-court statement to the police officer is relevant because it has a tendency to make a fact (i.e., the time and place of the alleged crime) more probable. Fed. R. Evid. 401. If this statement is offered for these purposes, it is hearsay; but it should be admitted because it fits within at least one hearsay exception.

The custodian's statement might fit the hearsay exception for "present sense impressions" because it is "[a] statement describing or explaining an event . . . made . . . immediately after the declarant perceived it." Fed. R. Evid. 803(1). Here, the custodian's statement was limited to a description of recent events, and the statement was made to the police officer 20 minutes after the events occurred. Whether 20 minutes is close enough in time to the event to qualify under this exception, however, is unclear.

The custodian's statement also may fit the hearsay exception for "excited utterances," if the court concludes that it is "a statement relating to a startling event . . . made while the declarant was under the stress of excitement that it caused." Fed. R. Evid. 803(2). Here, the facts support use of this exception if the court finds (1) that the custodian was startled by hearing the gunshot and scream and (2) that he remained "under the stress of excitement" 20 minutes later when he was interviewed by the police officer.

Under the Federal Rules of Evidence, the fact that the custodian is not available to testify has no impact on the application of either hearsay exception. Fed. R. Evid. 803 (all FRE 803 hearsay exceptions apply "regardless of whether the declarant is available as a witness"). In addition, the fact that the custodian heard but did not see the relevant events has no bearing on the admissibility of his statement.

[NOTE: An examinee's conclusion is less important than his or her reasoning on whether the statement comes in under either exception.]

CIVIL PROCEDURE/CONFLICT OF LAWS ANALYSIS

CIV I.C.; II.A.; V.A. / CNF III.B.2., C.2.

ANALYSIS

Legal Problems:

- (1) Can a motion to dismiss be amended, prior to a responsive filing being made, to add a ground for dismissal that would otherwise be waived because it was not raised in the initial motion to dismiss?
- (2) Is service of a summons and complaint sufficient when the documents are not served personally on the defendant, but instead are given to the defendant's parent at the defendant's parents' home where the defendant previously lived?
- (3) What choice-of-law approach should be followed by a federal court exercising its diversity jurisdiction?
- (4) Under the Restatement (Second) approach to choice of law, should a court honor a contractual choice-of-law clause when the parties have chosen the law of a state that is connected to their transaction but that law is different from the law of another state with an interest in the matter?

DISCUSSION

Summary

Although normally the motion to dismiss for insufficient service of process would be waived because it was not included in the original motion, the court should consider the woman's amended motion in this case. Where, as here, the opposing party has not briefed the motion and the case will not be unduly delayed by an amendment, courts generally allow an amendment of a motion to dismiss, even when the added grounds would be waived if not raised in a defendant's initial motion to dismiss.

The court should dismiss the action for insufficient service of process. Serving process at a defendant's parents' home is not sufficient service when the defendant no longer lives there.

Whether the court should dismiss Taxes's claim that the woman violated the noncompete covenant of her employment contract is a matter of law, which depends on whether State A or State B law applies to the claim. If State A law applies, the covenant is valid and the motion should be denied; if State B law applies, the covenant is invalid and the motion should be granted. Which law applies depends, in turn, on whether the court will honor the choice-of-law clause in the parties' contract.

Choice-of-law rules are substantive rules for diversity purposes. A federal court sitting in diversity must apply the choice-of-law rules of the state where it sits. Here, the federal court should apply the Restatement (Second) of Conflict of Laws approach, which State A follows, in determining whether to enforce the contractual choice-of-law clause.

Applying the Restatement (Second), the court should honor the parties' contractual choice-of-law clause, which said that their agreement would be governed by State A law. State A has a close connection to both the transaction and the parties, and its rules on noncompete covenants are not contrary to a fundamental public policy of State B. Thus, because the parties' noncompete covenant is valid under State A law, the court should deny the woman's motion to dismiss for failure to state a claim.

Point One (20%)

The court should consider the woman's insufficiency-of-service motion. Although she did not raise her defense of insufficient service of process in her original motion to dismiss, she avoided waiving the defense by promptly amending her motion to dismiss.

Generally, when a party makes a pre-answer motion under Federal Rule of Civil Procedure 12, the party must raise any claim of insufficiency of service of process that the party has at the time of the motion; otherwise, the defense is waived. Wright, Miller, Kane, Marcus & Steinman, *Federal Practice and Procedure* § 1391 (3d ed. 2013). Rule 12 states that "a party that makes a motion under this rule must not make another motion under this rule raising a defense or objection that was available to the party but omitted from its earlier motion." Fed. R. Civ. P. 12(g)(2). Further, "[a] party waives any defense listed in rule 12(b)(2)–(5) by . . . omitting it from a motion in the circumstances described in Rule 12(g)(2)." Fed. R. Civ. P. 12(h). Taken together, these rules would normally mean that the woman waived her Rule 12(b)(5) defense of insufficiency of service of process when she failed to include it in her original motion to dismiss. *See, e.g., Arkwright Mutual Ins. Co. v. Scottsdale Ins. Co.*, 874 F. Supp. 601 (S.D.N.Y. 1995).

Nonetheless, courts have allowed a motion to dismiss to be amended before the motion is heard, "so long as the adverse party is not prejudiced by the amendment and no delay results in the prosecution and determination of the case." *See, e.g., MacNeil v. Whittemore*, 254 F.2d 820 (2d Cir. 1958); *Friedman v. World Transportation, Inc.*, 636 F. Supp. 685 (N.D. Ill. 1986). *But see Heise v. Olympus Optical Co., Ltd.*, 111 F.R.D. 1 (N.D. Ind. 1986) (where plaintiff had already fully briefed issues raised by original motion to dismiss, motion could not be amended to add new grounds for dismissal, and omitted grounds were waived). Thus, "[a]lthough not expressly provided for in Federal Rule 12(g), a preliminary motion may be amended to include a defense or objection inadvertently omitted by the movant." Wright et al., *supra*, § 1389.

Here, the woman amended her motion to dismiss only two days after making the motion. Taxes had not yet responded to the motion and is not likely to have been prejudiced by the woman's failure to raise her insufficiency-of-service defense two days earlier. There is no indication that the proceedings will be delayed if her amended motion is treated as adequate to raise the defense. Accordingly, the woman's insufficiency-of-service defense was not waived by her failure to include it in the original motion.

Point Two (30%)

The court should grant the woman's motion and dismiss the action for insufficient service of process, because she did not live at her parents' house at the time the summons and complaint were delivered to her father.

Federal Rule of Civil Procedure 4(e) allows service by delivering a summons and complaint to an individual personally or by "leaving a copy of each at the individual's dwelling or usual place of abode with someone of suitable age and discretion who resides there." Here, Taxes sought to serve process on the woman by leaving a copy of the summons and complaint at her parents' home with her father. Although the woman had once lived with her parents, she had moved and was living in her own apartment in another state when process was served. Thus, service was not made at the woman's *current* dwelling or usual place of abode, and leaving the summons and complaint at her parental home was not sufficient. *See United States v. Tobins*, 483 F. Supp. 2d 68, 75–76 (D. Mass. 2007) (service is not proper where the defendant no longer resides at the address to which the summons and complaint are delivered); *Coffin v. Ingersoll*, 1993 WL 208806 (E.D. Penn. 1993) (leaving summons and complaint with parents is not sufficient service when defendant "has left home and established residence elsewhere"); *Cox v. Quigley*, 141 F.R.D. 222 (D. Maine 1992) (leaving summons and complaint with parents is not sufficient where defendant left home and moved out of state after graduating from college). Thus, the court should grant the woman's motion to dismiss for insufficient service of process.

Point Three (20%)

A federal court sitting in diversity must apply the choice-of-law rules of the state where the federal court sits. Thus, the court here should apply State A's choice-of-law rules.

A federal court sitting in diversity must apply the substantive law of the state in which it sits, including that state's choice-of-law rules. *Klaxon Co. v. Stentor Elec. Mfg. Co.*, 313 U.S. 487, 496 (1941). In this case, the court's determination whether to apply State A or State B law to the parties' noncompete covenant must be made by applying the choice-of-law rules of State A, the state where the court is sitting. Thus, the court must apply the standards set out in the Restatement (Second) of Conflict of Laws because these are the standards that would be applied by a State A court.

Point Four (30%)

Under the Restatement (Second), the court should honor the parties' choice of State A law because (a) State A has a close connection to the parties and the transaction, and (b) State A's law upholding the noncompete covenant is not contrary to the fundamental policy of State B.

The parties' employment contract specified that it would be governed by State A law. The Restatement (Second) of Conflict of Laws generally favors the enforcement of such choice-of-law clauses. Even when, as here, the legal issue is one that the parties could not have resolved on their own (the validity of a clause of their contract), the Restatement provides that the law chosen by the parties will be applied unless

Civil Procedure/Conflict of Laws Analysis

- (a) the chosen state has no substantial relationship to the parties or the transaction and there is no other reasonable basis for the parties' choice, or
- (b) application of the law of the chosen state would be contrary to a fundamental policy of a state which has a materially greater interest than the chosen state in the determination of the particular issue and which, under the rule of § 188 [a "most significant relationship" test], would be the state of the applicable law in the absence of an effective choice of law by the parties.

Restatement (Second) of Conflict of Laws § 187(2).

Here, the parties chose the law of State A, which has a substantial relationship to the parties and the transaction: both Taxes and the woman were located in State A when they signed their contract, and the contract concerned the terms of the woman's employment in State A. Accordingly, the issue is whether the parties' chosen law should be disregarded pursuant to Restatement (Second) § 187(2)(b).

Although State B's law would not enforce this particular noncompete covenant because its duration is more than 18 months, State B's policy does not appear to reflect a fundamental public policy against noncompete clauses in general. In fact, State B, like State A, generally enforces reasonable noncompete covenants, and this covenant would be considered unreasonable under State B law only because it is six months longer than State B courts allow. There are no facts to suggest that enforcing a noncompete clause longer than 18 months would violate a fundamental policy of State B. *See, e.g., Medx Inc. of Florida v. Ranger*, 780 F. Supp. 398, 401 (E.D. La. 1991) (noncompete covenant entered into in connection with sale of business is not contrary to strong public policy of Louisiana when Louisiana would allow such a covenant if its duration had been two years or less). Accordingly, the parties' choice of State A law should be honored, and the noncompete covenant should be enforced. Thus, if the court rules on the woman's motion to dismiss for failure to state a claim, the court should deny the motion.

[NOTE: If an examinee erroneously concludes that a federal court should follow State B's choice-of-law rules, then the examinee should conclude that the choice-of-law clause in the contract is unenforceable because expressly forbidden by a State B statute. As to the validity of the noncompete clause, State A law would apply under State B's *lex loci contractus* rule because State A was the place where the employment contract was made and was to be performed. If the court concluded that the noncompete covenant violated a fundamental public policy of State B, it might conclude that State B would refuse to enforce the covenant despite the fact that it was made in State A.]

February 2018
MEE Questions
and Analyses

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the February 2018 MEE. (In the actual test, the questions are simply numbered rather than being identified by area of law.) The instructions for the test appear on page iii.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, identified by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Civil Procedure question on the February 2018 MEE tested the following area from the Civil Procedure outline: III.C. Pretrial procedures—Rule 11.

For more information about the MEE, including subject matter outlines, visit the NCBE website at www.ncbex.org.

Description of the MEE

The MEE consists of six 30-minute questions and is a component of the Uniform Bar Examination (UBE). It is administered by user jurisdictions as part of the bar examination on the Tuesday before the last Wednesday in February and July of each year. Areas of law that may be covered on the MEE include the following: Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Civil Procedure, Conflict of Laws, Constitutional Law, Contracts (including Article 2 [Sales] of the Uniform Commercial Code), Criminal Law and Procedure, Evidence, Family Law, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Article 9 (Secured Transactions) of the Uniform Commercial Code. Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusions. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Examinees testing in UBE jurisdictions must answer questions according to generally accepted fundamental legal principles. Examinees in non-UBE jurisdictions should answer according to generally accepted fundamental legal principles unless your testing jurisdiction has instructed you to answer according to local case or statutory law.

February 2018 MEE Questions

Family Law

Criminal Law

Contracts

Real Property

Civil Procedure

Agency

FAMILY LAW QUESTION

In 2012, David and Meg had a baby girl, Anna. At the time of Anna's birth, David and Meg were both 21 years old. For the next four years, they lived separately. David and Anna lived with David's mother (Anna's grandmother). The grandmother cared for Anna while David worked. David cared for Anna most evenings and weekends. During this period, Meg attended college in a distant city; she called weekly but visited Anna only during school breaks and for one month each summer.

In 2013, David bought an auto repair business with money he had saved. The grandmother continued to care for Anna while David was working in his auto repair business.

In 2016, David and Meg were married in a small wedding held at the grandmother's house. One week before their wedding, David surprised Meg by asking her to sign a premarital agreement prepared by his attorney. The agreement provided that, in the event of a divorce,

1. all assets owned by each spouse at the time of the marriage would remain the sole property of that spouse;
2. neither spouse would be entitled to alimony; and
3. the spouses would have joint physical custody of Anna.

Attached to the proposed agreement was an accurate list of David's net assets (his personal possessions, the auto repair business, a used car, and a small bank account), a list of his liabilities, and his tax returns for the past three years.

David told Meg that he would not proceed with the marriage unless she signed the agreement. Meg believed that the marriage would be successful, and she did not want to cancel or postpone the wedding. She therefore signed the agreement and appended a list of her own debts (student loans); she correctly indicated that she had no assets other than her personal possessions.

Since the wedding, David, Meg, and Anna have lived together and the grandmother has continued to provide child care while David and Meg are at work. Meg has worked full-time as a computer engineer, and David has continued to work full-time in his auto repair business. Their incomes are relatively equal.

They have the following assets: (a) the auto repair business (owned by David); (b) stocks (owned by Meg, which she inherited last year); and (c) the marital home (purchased by David in his name alone shortly after the wedding). The down payment and all mortgage payments for the marital home have come from the couple's employment income.

Last month, David discovered that Meg had been having an affair with a coworker for the past year.

David wants a divorce. He also wants to obtain sole physical custody of Anna; he believes that Meg's adultery should disqualify her as a custodial parent. His plan is to live with the grandmother, who would provide child care when he is unavailable.

Family Law Question

This jurisdiction has adopted a statute modeled after the Uniform Premarital Agreement Act.

1. May either spouse successfully enforce the premarital agreement in whole or in part? Explain.
2. Assuming that the premarital agreement is not enforceable, what assets are divisible at divorce? Explain.
3. Assuming that the premarital agreement is not enforceable, may David obtain sole physical custody of Anna based on (a) Meg's adultery or (b) other factors? Explain.

CRIMINAL LAW QUESTION

A defendant, age 25, is charged in State A with armed robbery. According to the indictment, on June 1, the defendant went into a store, pulled out a gun, and said to a cashier, "Give me all your money or I'll shoot you!" The cashier gave the defendant \$5,000. The police arrived as the defendant was driving away. The police car followed the defendant, who was driving over 80 mph. The defendant crashed his car into a tree and suffered a serious head injury, losing consciousness. He was taken by ambulance to a hospital, where he regained consciousness on June 8. On June 15, he was discharged from the hospital. On July 1, he was arraigned on the armed robbery charge and released on bail. Over the next few months, the defendant recovered full physical mobility, but he continued to show symptoms of cognitive impairment resulting from brain trauma suffered during the car crash.

Police interviews with the defendant's family and friends have revealed that, in the months preceding the robbery, the defendant had experienced financial and emotional difficulties. According to the defendant's best friend, the defendant had recently started a new business, which was struggling. A month before the robbery, the defendant told his best friend, "I cannot attract customers because the United Nations has organized a secret boycott of my new business." On the day before the robbery, the defendant texted his best friend: "I've been a victim for too long. I've decided to start making up for my losses. If you read about me in the papers tomorrow, I'll already be far away, so delete this text and tell the police you never knew me."

In December, as the state began preparing for trial, two court-appointed psychiatrists evaluated the defendant and prepared the following joint report to the court:

Before the robbery, the defendant had a slightly above-average IQ. The defendant had completed a community college program in business administration and had recently opened his own business, which he owned and managed at the time of the robbery. A few months before the robbery, the defendant's business was struggling, and he began experiencing some mental health difficulties. His mental health difficulties apparently did not impair his relationships with his family and friends or his ability to manage his everyday life and operate his business. The defendant never sought mental health treatment.

On the day of the robbery, during the crash, the defendant sustained brain trauma that has impaired his cognitive functioning. The defendant has not returned to work, and there has been no cognitive improvement to date. When questioned about the pending criminal charge, the defendant typically responds, "My mother told me I did something bad, but I can't remember what." He is unable to remember anything about the robbery. When asked about his appointed counsel, the defendant usually says, "She's nice" or "She comes to see me and helps me." He describes the judge as "the guy in charge," but when asked to explain what happens in court he responds, "I don't know what they are talking about." During repeated interviews, we have seen no evidence that the defendant currently understands abstract language and concepts. We have also seen no evidence that he is feigning or exaggerating his cognitive impairment.

Criminal Law Question

State A uses the *M’Naghten* not guilty by reason of insanity (NGRI) test and requires that the affirmative defense of NGRI be proved by a preponderance of the evidence.

Defense counsel has requested a hearing to determine whether the defendant is competent to stand trial (in some jurisdictions, this is called “fitness to stand trial”) and has informed the court that, if the trial proceeds, the defendant will argue that he is NGRI.

Based on all the information presented above, including the information in the psychiatrists’ report:

1. Should the prosecution be suspended because the defendant is currently incompetent to stand trial? Explain.
2. If the defendant is found competent to stand trial and the prosecution proceeds, will the jury likely find that, with respect to each element of the *M’Naghten* test, the defendant has met his burden of proof? Explain.

CONTRACTS QUESTION

A woman whose hobby was making pottery wanted to improve her pottery skills both for her own enjoyment and to enable her to create some pottery items that she could sell. Accordingly, she entered into negotiations with an experienced professional potter about the possibility of an apprenticeship at his pottery studio.

The negotiations went well, and after some discussion, the woman and the professional potter orally agreed to the following on May 1:

- The woman would be the potter's apprentice for three months beginning May 15. During the apprenticeship, the potter would provide education and guidance about the artistry and business of pottery. The woman would pay the potter \$4,000 for the right to serve as the potter's apprentice, payable on the first day of the apprenticeship.
- The potter would supply the woman with equipment and tools that she would use during the apprenticeship and would be entitled to take with her at the conclusion of the apprenticeship. On or before May 8, the woman would pay the potter \$5,000 for the equipment and tools.
- The woman would be provided with a private room in the potter's studio in which to stay during the apprenticeship.

On May 2, the woman and the potter signed a document titled "Memorandum of Agreement." It contained the terms orally agreed to the day before, except that it did not refer to the woman's living in a private room in the potter's studio. The last sentence of the document stated, "This is our complete agreement."

On May 8, the woman went to the potter's studio and paid him the \$5,000 called for in the agreement for the equipment and tools. While she was there, the potter said that he had decided that the \$4,000 price was too high for the right to serve as his apprentice and proposed lowering it to \$3,500. The woman happily agreed, and they shook hands on this new arrangement.

On May 15, the woman arrived at the potter's studio to begin the apprenticeship and move into the room she would occupy during that time. The potter refused to let her move in, however, and said that their deal did not require him to provide lodging for the woman. When the woman protested that they had agreed to the lodging arrangement, the potter took the signed Memorandum of Agreement out of his pocket and pointed out to her that it contained no reference to the woman's living in his studio. He then said, "If it's not in here, it's not part of the deal."

The woman then said, "At least you were reasonable in agreeing to change the price for the apprenticeship to \$3,500. Saving that extra five hundred dollars means a lot to me." In response, the potter pointed to the Memorandum of Agreement again and said to the woman, "That's not what this says. This says that you'll pay me \$4,000 today. Even if I agreed to lower the price, I didn't get anything for that, so why should I be bound by it?"

The woman is quite angry about this turn of events and is considering suing the potter.

Contracts Question

1. If the woman sues the potter about the disputes relating to the apprenticeship, will those disputes be governed by the common law of contracts or by Article 2 of the Uniform Commercial Code? Explain.
2. Assuming that the common law of contracts governs, is the oral agreement concerning the woman's lodging binding on the parties? Explain.
3. Assuming that the common law of contracts governs, is the oral agreement lowering the price for the apprenticeship binding on the parties? Explain.

REAL PROPERTY QUESTION

A developer acquired a 30-acre tract of land zoned for residential use. The developer thereafter marked out 60 building lots. The developer granted various utility providers appropriate easements to install underground sewer and utility lines. These utility easements were promptly and properly recorded.

Subsequently, the developer contracted with a man to build a home for the man on one of the 60 lots. The contract provided that, at closing, the developer would convey the home and lot to the man by a warranty deed excepting all easements and covenants of record. The home was completed nine months later.

At the closing, the developer conveyed the home and lot to the man by a valid warranty deed containing the six title covenants. Notwithstanding the language in the contract, the deed contained no exceptions to these six covenants. The deed was promptly and properly recorded.

Two months later, following a heavy storm, the man discovered rainwater in the basement level of his home. Three bedrooms were located on this level, and the influx of rainwater made all of them unusable. An expert determined that the cause of the rainwater influx was a defect in the construction of the home's foundation.

The man contacted the developer, who denied any responsibility for the influx. Rather than argue with the developer, the man contacted a plumber, who concluded that the problem could be solved by installing a sump pump in the basement. The plumber accurately told the man that the usual cost of installing a sump pump was \$750, but that the location of the sewer lines coming into the home created more work, raising the installation cost to \$1,500. The man told the plumber to install the pump.

Thereafter, the man sued the developer for \$5,000 in damages for the cost of the sump pump, its installation, and damage to the floors and carpeting in the basement. He also sought additional damages for breach of one or more title covenants.

1. Which present title covenants, if any, did the developer breach with respect to the utility easements? Explain.
2. Assuming that there was a breach of one or more of the present title covenants, can the man recover damages from the developer for the breach? Explain.
3. May the man force the utility company that installed the underground sewer lines to remove them from the land? Explain.
4. May the man recover the \$5,000 in damages from the developer? Explain.

CIVIL PROCEDURE QUESTION

While speeding down a rural highway in State A, the driver of a moving van lost control of the van and struck a car. A passenger in the car was seriously injured.

The passenger filed suit in the federal district court for the district in State A where the accident had taken place. She sought damages for her injuries from the driver of the van and the moving company that employed him. Among other allegations, the complaint alleged that

- the driver and the moving company are citizens of State A;
- the driver resides in the federal judicial district where the suit was brought;
- the accident occurred in the federal judicial district where the suit was brought;
- the passenger is a citizen of State B;
- the amount in controversy exceeds \$75,000;
- venue is proper in the federal judicial district where the suit was brought;
- the driver was employed by the moving company and was acting in the course of his employment at the time of the accident;
- the driver of the moving van was negligent; and
- the passenger suffered serious injuries as a result of that negligence.

The defendant driver and the defendant moving company were both represented by an attorney who was a partner in a 30-lawyer law firm. The attorney was retained and received a copy of the complaint only four days before an answer was due. The attorney was conducting another trial at the time. Rather than ask another lawyer in the firm to answer the complaint, the attorney personally prepared and filed a timely answer to the complaint on behalf of the defendants.

The answer to the complaint, which was signed by the attorney, read simply: “General Denial: Defendants Hereby Deny Each and Every Allegation in the Complaint.”

Two months later, the plaintiff (the passenger) properly served Requests for Admission on the defendants, requesting admission of each allegation in the complaint. Responding to the Requests for Admission, the defendants (still represented by the attorney) denied the allegations concerning the driver’s negligence and the plaintiff’s injuries, but admitted all other alleged facts.

The plaintiff then served on the defendants’ attorney a motion for sanctions on the ground that the general denial in the answer was inappropriate. The plaintiff requested that the defendants withdraw their original answer and file an amended answer admitting the allegations that the defendants had admitted in their response to the Requests for Admission.

One month later, after the defendants had failed to withdraw or amend their answer, the plaintiff filed the motion for sanctions in court. The plaintiff's lawyer submitted evidence that his customary billing rate is \$300 per hour and that he had spent seven hours preparing the motion and corresponding with the defendants' attorney about the answer, for a total of \$2,100.

1. May the court properly grant the plaintiff's motion for sanctions? Explain.
2. If the court grants the plaintiff's motion for sanctions, (a) what sanctions are appropriate and (b) against whom should the sanctions be ordered? Explain.

AGENCY QUESTION

A man and a woman were equal partners in a neighborhood natural-foods store. The store had been at the same location for many years and had developed a loyal following. Under their informal arrangement, the man had managed the business and the woman had supplied capital to the business as needed.

They leased the building in which the store was located and had regularly sought to purchase the building for the partnership, but the landlord had always refused. Six months ago, however, the landlord called the man and said, "I thought you would want to know that I'm planning to sell the building." The next day, the man sent the woman an email: "I am leaving our partnership. I will wind up the business and send you a check for your half share." Without informing the woman, the man then contacted the landlord and offered to buy the building. The landlord accepted, and the two entered into a binding purchase agreement. One month later, the man took title to the building.

Three months ago, the man sent the woman a check for half of the store's inventory and other business assets. Instead of cashing the check, the woman sent the man an email stating that she regarded the partnership as still in existence and demanded that the man convey title to the building to the partnership. The man replied that their partnership was dissolved and that he had moved on. He then began to operate the store as a natural-foods store with a name different from that of the original store, but with the same product offerings and the same employees.

The woman has sued the man for withdrawing from the partnership and for breaching his duties by buying the building from the landlord.

1. Did the man properly withdraw from the partnership? Explain.
2. Assuming that the man's withdrawal was not wrongful, what was the legal effect of the man's withdrawal from the partnership? Explain.
3. What duties, if any, did the man breach by purchasing the building? Explain.

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Family Law

Criminal Law

Contracts

Real Property

Civil Procedure

Agency

FAMILY LAW ANALYSIS

FAMILY LAW I.F.; III.D.; IV.A., E.

ANALYSIS

Legal Problems:

- (1)(a) Under the state statute, when is a premarital agreement regarding property division and alimony enforceable?
- (1)(b) Under the state statute, when is a premarital agreement regarding child custody enforceable?
- (2) What assets are divisible at divorce?
- (3)(a) May a court deny a parent physical custody of a child based on adultery?
- (3)(b) What factors may be taken into account in determining child custody?

DISCUSSION

Summary

Under this state statute (modeled on the Uniform Premarital Agreement Act (UPAA)), a premarital agreement regarding property division and alimony is binding if entered into voluntarily and with reasonable disclosure of assets and obligations. Here, David accurately disclosed his assets, and it is unlikely that a court will find that Meg entered into the agreement involuntarily because David presented the agreement to her a week before the wedding. The wedding was small and thus would not likely have been difficult or expensive to cancel. Meg also had time to confer with independent counsel. However, whether or not the property-division and alimony provisions of the agreement are upheld, the provisions regarding child custody are unenforceable.

In most states, assets acquired before marriage or by inheritance are “separate” property; neither a separate asset nor appreciation in its value is subject to division at divorce. However, substantial postmarital effort by the owner of a separate asset that enhances the value of that asset creates marital property; so does the use of marital funds to add value or obtain equity in separate property. Thus, Meg’s inheritance is a separate asset. David’s auto repair business is partly separate because it was acquired before the marriage, but may be partly marital if its value increased because he worked full-time in the business after the marriage. The home is marital, despite the fact that David took title in his name only, because marital funds were used to pay for it.

Custody decisions are based on the “best interests of the child.” David cannot obtain sole physical custody based on Meg’s adultery; this behavior is irrelevant unless he can show that it has caused or will cause significant harm to Anna. In evaluating a child’s best interests, courts look at a range of factors, including the child’s wishes, the parents’ physical and mental health, and the interaction and interrelationship of the child with both parents and any other person who

may significantly affect the child's best interests. Here, it is possible that David might obtain sole physical custody based on one or more of these factors, but case outcome cannot be predicted with the information at hand.

Point One(a) (30%)

Under the state statute, an agreement regarding property division and alimony that is made voluntarily and with fair and reasonable disclosure of assets and obligations is binding. Here, it is highly unlikely that Meg can avoid enforcement of the premarital agreement; David fully disclosed his assets, and the evidence does not support a claim of involuntariness.

Although courts were once hostile to premarital agreements, today all states permit spouses to contract premaritally with respect to rights and obligations in property. In all states, the enforceability of such an agreement turns on three factors: voluntariness, fairness, and disclosure. How courts apply these factors varies significantly from one state to the next. In many states, an agreement is unenforceable if the party against whom enforcement is sought succeeds in showing involuntariness, unfairness, or lack of adequate disclosure. However, under the UPAA, which has been adopted in 26 states and this jurisdiction, the party against whom enforcement is sought must prove (1) involuntariness or (2) that "the agreement was unconscionable when it was executed" and that he or she did not receive or waive "fair and reasonable" disclosure and "did not have, or reasonably could not have had, an adequate knowledge" of the other's assets and obligations. UPAA § 6(a). Thus, under the state statute, a court may not refuse to enforce a premarital agreement based on unconscionability unless it also finds lack of adequate disclosure or knowledge.

Here, Meg cannot establish inadequate disclosure and knowledge. David gave her copies of his tax returns for three years and an accurate list of his assets. Under the UPAA, Meg would thus be required to show that the execution of the agreement was involuntary in order to avoid its enforcement.

In considering whether a premarital agreement was voluntarily executed, courts look to whether there was fraud, duress, or coercion. They agree that one party's insistence on signing the agreement as a condition of the marriage does not, of itself, render the agreement involuntary, but there is no consensus on what additional facts are sufficient to establish involuntariness. *See Principles of the Law of Family Dissolution* § 7.04 cmt. c (2002).

Many of the reported cases, like this one, involve a claim of involuntariness based on presentation of an agreement very close to the wedding. In analyzing whether an agreement signed under these circumstances is voluntary, courts have looked at a wide range of factors, including the difficulty of conferring with independent counsel, other reasons for proceeding with the marriage (for example, a preexisting pregnancy), and financial losses and embarrassment arising from cancellation of the wedding. A number of courts have held that an agreement signed without the opportunity to consult with independent counsel will be scrutinized more closely. *See, e.g., Sogg v. Nevada State Bank*, 832 P.2d 781 (Nev. 1992). *See also Ruzic v.*

Ruzic, 549 So. 2d 72, 75 (Ala. 1989) (premarital agreements to be upheld only when each party had independent counsel).

Here, David presented the proposed agreement one week before the wedding. There is no evidence that Meg did not have time to confer with counsel. Nor is there evidence that canceling the wedding would have entailed any significant expense; the wedding was small and took place at the grandmother's house. Cancellation of the wedding at this late date might have been embarrassing, but it probably would not have been costly. Thus, it is unlikely that Meg can establish involuntariness and void the premarital agreement.

[NOTE: Although only about half the states have adopted the UPAA, voluntariness, fairness, and asset disclosure are relevant to enforceability in all jurisdictions. In non-UPAA jurisdictions, however, a court may refuse to enforce a premarital agreement on any of these grounds. Thus, in a non-UPAA state, a court's analysis of voluntariness will likely track the analysis here. But in a non-UPAA jurisdiction, a court could also refuse to enforce on fairness grounds even though disclosure was adequate.]

Point One(b) (10%)

A premarital agreement regarding child custody is unenforceable.

Because of the strong public policy in favor of protecting the best interests of children, courts have invariably found that provisions in a premarital contract relating to children, including provisions relating to child custody and visitation, are unenforceable. *See* Harry D. Krause et al., *Family Law: Cases, Comments and Questions* 216 (7th ed. 2012). Although the UPAA does not explicitly bar an agreement respecting child custody, “[l]ong tradition . . . would seem to ensure . . . that courts would not consider themselves bound by custody provisions they believe injurious to the child's interest. The law of separation agreements in every state is explicit on that point, and there is no reason why premarital agreements would be treated differently.” Ira Ellman et al., *Family Law: Cases, Text, Problems* 856 (5th ed. 2010).

Thus, the provisions of the premarital agreement requiring joint custody will not be enforced even if the alimony and support provisions of the agreement are upheld.

Point Two (35%)

In most states, assets acquired before marriage or by inheritance are “separate” property; neither a separate asset nor appreciation in its value is subject to division at divorce. However, substantial postmarital effort of an owner spouse or the use of marital funds to add value or obtain equity in separate property creates marital property. Thus, Meg's inheritance is separate property. David's auto repair business may be partly marital property. The home is marital property.

In all states, a divorce court may divide assets without regard to title. However, in most states, only marital property—assets acquired during the marriage except by gift, devise, or

inheritance—is subject to division at divorce. In a minority of “hotchpot” jurisdictions, the court may divide all assets, whenever or however acquired. A few states permit the division of separate property in special circumstances, such as hardship. *See* Harry D. Krause et al., *Family Law: Cases, Questions, and Comments* 752–53 (6th ed. 2007).

Although the mere fact that a separate asset appreciates in value during the marriage does not create marital property, an asset that is initially separate property may be partially transformed into marital property if marital funds or significant postmarital effort by the owner spouse enhance its value or build equity. *See id.* at 764–65. Thus, if a spouse spends a substantial amount of time working in a separate business, that effort typically creates marital property. And if marital funds are used to reduce mortgage indebtedness, such equity-building payments typically create marital property. *See* J. Thomas Oldham, *Divorce, Separation and the Distribution of Property* § 7.05 (2002) (describing apportionment principles and noting that, in a few states, installment payments create only a marital lien against the value of the separate asset).

Here, Meg’s stocks are separate property because she inherited them, and there is no indication that she has expended substantial effort that has contributed to their current value. David’s auto repair business was initially separate property; he acquired the asset before the marriage. But he has worked full-time in the business during the marriage; this would represent substantial effort, and any postmarital increase in the value of the business is thus likely to be characterized as at least partly marital. The home is marital property despite the fact that it is titled solely in David’s name, as marital funds (employment income) were used for the down payment and all mortgage payments.

In a hotchpot state, all assets owned by David and Meg would be subject to division at divorce.

[NOTE: The above analysis applies in both common law and community-property states. Although the rules governing asset *management* and *division at death* vary depending on whether the jurisdiction is a common law or community-property state, today, all states disregard title in defining the pool of assets available for division at divorce. Indeed, the marital property rules applicable in common law states are sometimes referred to as “deferred community property.”]

Point Three(a) (10%)

Child custody decisions are based on the best interests of the child, and a parent’s misconduct may not be taken into account unless it causes significant harm to the child. Thus, David cannot obtain sole physical custody of Anna based on Meg’s adultery.

Child custody decision making is invariably governed by the “best interests of the child” standard. Today, courts agree that a court may not deprive a parent of custody based on a parent’s values or lifestyle unless the evidence shows that the parental conduct adversely affects the child. “[T]o deprive a parent of custody, the evidence must support a logical inference that some specific, identifiable behavior or conduct of the parent will probably cause significant

physical or emotional harm to the child. This link between parent's conduct and harm to the child, moreover, may not be based on evidence which raises a mere surmise or speculation of possible harm." *May v. May*, 829 S.W.2d 373, 377 (Tex. Ct. App. 1992). *See also Fulk v. Fulk*, 827 So. 2d 736 (Miss. 2002). Based on this child-centered approach, most courts have ruled that a parent's sexual behavior is not by itself sufficient to deny a parent custody. *See, e.g., T.C.H. v. K.M.H.*, 784 S.W.2d 281, 284 (Mo. App. 1989).

Thus, a court may not award David sole physical custody of Anna based on Meg's adultery because there is no evidence that Meg's adultery has caused Anna harm.

Point Three(b) (15%)

It is possible that a court would award David sole physical custody based, at least in part, on his greater role in providing child care and the grandmother's role as a primary caregiver during Anna's formative years, which an award of sole physical custody to David would preserve. But evidence on other relevant factors is lacking, making it impossible to predict what a court would do.

A custody decision is based on the best interests of the child. That determination is based on a range of factors, including "(1) the wishes of the child's parent or parents as to his custody; (2) the wishes of the child as to his custodian; (3) the interaction and interrelationship of the child with his parent or parents, his siblings, and any other person who may significantly affect the child's best interest; (4) the child's adjustment to his home, school, and community; and (5) the mental and physical health of all individuals involved." Uniform Marriage and Divorce Act (UMDA) § 402.

Here, there are some facts that support an award of sole physical (i.e., residential) custody to David. Meg lived with Anna only for brief periods during the child's first four, formative years; David lived with Anna throughout this period and provided care for her when he was not working. During these four years, the grandmother acted as a primary caregiver to Anna, and she has continued to provide care; an award of sole physical custody to David would thus enable Anna to maintain an active relationship with a caregiver, her grandmother, who may have played an important parental role.

However, evidence is lacking on other relevant factors, including Anna's preference, each parent's mental and physical health, Anna's current relationships with both parents and with the grandmother, and Anna's current adjustment to her home, school, and community.

It is thus possible, but far from certain, that David could obtain sole physical custody of Anna, but without information on the other relevant factors, it is impossible to predict the outcome here.

CRIMINAL LAW ANALYSIS

CRIMINAL LAW IV.B.1., C.1.; V.E.

ANALYSIS

Legal Problems:

- (1) Should the prosecution be suspended due to the defendant's incompetence to stand trial (in some jurisdictions this is called "lack of fitness to stand trial") if, due to a cognitive impairment, he currently cannot consult with his lawyer with a reasonable degree of rational understanding and he lacks a rational and factual understanding of the proceedings against him?
- (2) If the defendant is found competent to stand trial and the prosecution proceeds, in a jurisdiction that uses the *M'Naghten* test, should the defendant be found not guilty by reason of insanity (NGRI)?

DISCUSSION

Summary

A defendant may not be prosecuted if he is incompetent to stand trial. Here, the defendant should be found incompetent because the evidence gathered by the police and the court-appointed psychiatrists demonstrates that he currently (1) lacks a rational and factual understanding of the proceedings against him and (2) cannot consult with his lawyer with a reasonable degree of rational understanding. The defendant does not understand the charge against him, the role of appointed counsel or the judge, what happens in court, or abstract language and concepts.

If the defendant is found competent to stand trial and the prosecution proceeds, a jury should not find that the defendant is NGRI because the defendant cannot prove by a preponderance of the evidence that the *M'Naghten* test is satisfied. Under that test, the defense must prove that, at the time of the offense, (1) the defendant suffered from a defect of reason, from disease of the mind; and (2) as a result of this mental disease or defect, the defendant at the time of the act did not know the nature and quality of the act, or that the act was wrong.

Under the first prong of the *M'Naghten* test, the defendant will probably be unable to prove that he was suffering from a defect of reason from a disease of the mind. Although at the time of the armed robbery the defendant was experiencing "mental health difficulties" and some cognitive impairment (which included blaming the United Nations for a secret boycott of his business), when balanced against the evidence of cognitive functioning gathered by the police and the court-appointed psychiatrists, the defendant's evidence is probably insufficient to meet his burden of proof on this point.

Under the bifurcated second prong of the *M'Naghten* test, the defense must also prove that, at the time of the robbery, (1) the defendant did not know the nature and quality of the act

or (2) did not know that the act was wrong. Although states' laws differ on the definition of "wrongfulness" for NGRI purposes, here the facts suggest that the defendant knew the nature and quality of his act of armed robbery and that it was legally and morally wrong.

Point One (40%)

The defendant should be found incompetent to stand trial because he currently (1) cannot consult with his lawyer with a reasonable degree of rational understanding and (2) lacks a rational and factual understanding of the proceedings against him.

Competence to stand trial is a legal requirement that refers to a defendant's ability to participate in criminal proceedings. In some jurisdictions, competence is called "fitness to stand trial." To be competent, it is not enough that the defendant be "oriented to time and place and [have] some recollection of events." *Dusky v. U.S.*, 362 U.S. 402 (1960). The *Dusky* test has two prongs: the defendant must have (1) "sufficient present ability to consult with his lawyer with a reasonable degree of rational understanding" and (2) "a rational as well as factual understanding of the proceedings against him." *Id.* In *Drope v. Missouri*, 420 U.S. 162 (1975), the Supreme Court elaborated on the *Dusky* standard, clarifying that the defendant must be able "to assist in preparing his defense." 420 U.S. at 171. Assisting counsel also requires that a defendant be able to make decisions, including whether to go to trial or plead guilty. Model Rules of Professional Responsibility R. 1.2(a). Whenever the defense can establish a "bona fide doubt" regarding the defendant's decision-making abilities, the court must hold a hearing to determine competence to stand trial. *See Pate v. Robinson*, 383 U.S. 375, 385 (1966). Once the defendant has made this preliminary showing, the burden of evaluating competency is placed on the courts and court-appointed experts. *See Godinez v. Moran*, 509 U.S. 389 (1993).

Here, the defense has raised bona fide doubt regarding the defendant's decision-making abilities, and the court has gathered evidence to determine his competence to stand trial. The evidence obtained by the police and the findings of the two psychiatrists demonstrate that the defendant cannot currently meet either of the two prongs of the *Dusky* competence test.

The defendant does not meet the first prong of *Dusky* because he lacks the "present ability to consult with his lawyer with a reasonable degree of rational understanding." *Dusky*, 362 U.S. at 402. The defendant currently cannot (1) provide any information about the armed robbery; (2) understand the charge against him ("My mother told me I did something bad, but I can't remember what."); (3) understand the role of his appointed counsel ("She's nice" and "She comes to see me and helps me"); or (4) comprehend abstract language and concepts. There is also no evidence that the defendant is feigning or exaggerating this impairment for the purpose of avoiding trial. Together, these facts show that the defendant currently lacks the ability to assist counsel in any fashion. *See United States v. Andrews*, 469 F.3d 1113, 1118–19 (7th Cir. 2006). Here, the defendant cannot currently assist counsel because he lacks knowledge of his case and the myriad consequences of his decisions. *Boykin v. Alabama*, 395 U.S. 238, 242 (1969); *see also Lafler v. Cooper*, 132 S. Ct. 1376, 1383–84 (2012).

The defendant also does not meet the second prong of *Dusky* because he does not possess “a rational as well as factual understanding of the proceedings against him.” As to what is happening in the courtroom, the defendant admits, “I don’t know what they are talking about,” and he understands only that the judge is “the guy in charge.” If the defendant cannot understand the crime, charges, role of his appointed counsel, courtroom proceedings, and the role of the judge, the court should find that he is not currently competent to stand trial and the case should not proceed.

If the defendant’s mental abilities improve, his competence can be reassessed in the future.

Point Two (60% total)

If the defendant is ever found competent to stand trial and the prosecution proceeds, a jury should not find that he is NGRI under the *M’Naghten* test because the defense cannot prove by a preponderance of the evidence that, at the time of the armed robbery, (1) the defendant was suffering from a defect of reason from a disease of the mind; and (2) as a result of this mental disease or defect, he did not know the nature and quality of the act, or that the act was wrong.

I. The *M’Naghten* test (15%)

Under the *M’Naghten* test for NGRI used by State A (and a majority of states), the defense must prove that, at the time of the offense, (1) the defendant suffered from a defect of reason, from disease of the mind; and (2) as a result of this mental disease or defect, the defendant at the time of the act did not know the nature and quality of the act, or that the act was wrong. *See generally* Wayne R. Lafave, *Criminal Law, Chapter 7: Insanity* § 7.2 (5th ed. 2010). The nearly two-century-old *M’Naghten* test is derived from the opinion in *M’Naghten*, 8 Eng. Rep. 718 (1843). In State A, as in most states, the defense must prove the affirmative defense of NGRI by a preponderance of the evidence.

II. *M’Naghten* prong one (15%)

Under the first prong of the *M’Naghten* test, the defense probably cannot prove by a preponderance of the evidence that the defendant suffered from a defect of reason caused by a disease of the mind. There has never been a comprehensive statutory or jurisprudential definition of “defect of reason” or “disease of the mind.” However, for a court to find a defendant NGRI, the defendant’s mental defect or disease must be sufficiently severe to cause the consequences described in the second prong of the *M’Naghten* test.

Here, the evidence indicating that the defendant was suffering from a mental disease or defect is the psychiatrists’ opinion that the defendant was having “mental health difficulties” and the defendant’s statement to his best friend: “I cannot attract customers because the United Nations has organized a secret boycott of my new business.” The court must balance this evidence against the evidence that, at the time of the armed robbery, the defendant (1) had not been diagnosed with a mental disease or defect, (2) had not sought mental health treatment, (3) had not displayed any other signs of cognitive impairment to his family or friends, (4) maintained

relationships with family and friends, and (5) managed to run his everyday life and operate his business. Thus, even if the defendant was suffering from some cognitive impairment at the time of the armed robbery, there appears to be insufficient evidence of a mental disease or defect that would satisfy the first prong of the *M’Naghten* test. *See generally* Paul H. Robinson, “Criminal Law Defenses: A Systematic Analysis,” 82 *Col. L. Rev.* 199 (1982).

III. *M’Naghten* prong two (30%)

Under the *M’Naghten* test, a finding that the defendant was suffering from a “defect of reason” caused by a “disease of the mind” is necessary—but insufficient—to support a verdict of NGRI. *See, e.g., People v. Stoffel*, 794 N.Y.S.2d 230 (2005) (affirming the defendant’s conviction, because his schizophrenic delusions did *not* prevent him from knowing right from wrong). The bifurcated second prong of the test requires that the defense also prove that, as a result of this mental disease or defect, the defendant either did not know the nature and quality of the act or did not know that the act was wrong.

Here, the evidence gathered by the police and the court-appointed psychiatrists establishes that the defendant knew the nature and quality of his armed robbery of the store. The day before the robbery, the defendant texted his best friend: “I’ve been a victim for too long. I’ve decided to start making up for my losses,” which indicates that the defendant understood the robbery as a solution to his financial woes. The defendant also described his plan to flee: “If you read about me in the papers tomorrow, I’ll already be far away.” Finally, the defendant instructed his friend to destroy evidence (“delete this text”) and to lie to the police (“tell the police you never knew me”). Taken together, these facts establish that the defendant knew the nature and quality of the act of robbing the store.

On these facts, there is also sufficient evidence that the defendant knew that the act of armed robbery was wrong. Various state laws (and judicial interpretations of the NGRI defense) differ on the definition of “wrongfulness.” *See State v. Crenshaw*, 659 P.2d 488, 491 (Wash. 1983) (“The definition of the term ‘wrong’ in the *M’Naghten* test has been considered and disputed by many legal scholars.”). Some states define “wrongfulness” as legally wrong and provide the NGRI defense if the defendant’s mental disease or defect prevented him from knowing that his acts were legally wrong (i.e., criminal violations). *See State v. Hamann*, 285 N.W.2d 180, 184 (Iowa 1979) (“We hold the words ‘right’ or ‘wrong’ under the *M’Naghten* rule refer to legal right or wrong.”) Other states define “wrongfulness” as morally wrong and provide the NGRI defense *only* if the defendant did not know that his acts were morally wrong (i.e., the type of acts that society would condemn). *See People v. Schmidt*, 110 N.E. 945 (Ct. App. N.Y. 1915); *People v. Wood*, 187 N.E.2d 116 (Ct. App. N.Y. 1962); *State v. Roberts*, 876 N.W.2d 863 (Minn. 2016) (“The word ‘wrong’ in this [M’Naghten] statute is “used in the moral sense.”); *State v. Bott*, 246 N.W.2d 48, 52 (Minn. 1976). This means that a “defendant must know that his act was wrong in a moral sense and not merely know that he has violated a statute.” The remaining states do not define “wrongfulness.” *See LaFave, supra*, at 406–07.

Regardless of whether the state defines wrongfulness as a legal or moral wrong, none of the evidence indicates that the defendant believed that his acts were legally or morally justified or acceptable. The defendant entered a store, demanded “Give me all your money or I’ll shoot you,” stole \$5,000, and sped away from the scene driving over 80 mph. The day before the armed robbery, the defendant texted his best friend: “I’ve been a victim for too long. I’ve decided to start making up for my losses. If you read about me in the papers tomorrow, I’ll already be far away, so delete this text and tell the police you never knew me.” As noted above, taken together these facts establish both that the defendant knew the nature and quality of his acts and that his armed robbery of the store was legally and morally wrong.

In sum, even if the defense satisfied the first prong of the *M’Naghten* test by proving that the defendant suffered from a “defect of reason” caused by a “disease of the mind,” the defense could not satisfy the second prong because on this record there is insufficient proof to demonstrate, by a preponderance of the evidence, that the defendant did not know the nature and quality of his armed robbery of the store or that his act was legally or morally wrong.

[NOTE: The fact that the defendant now suffers from brain damage is obviously not relevant to the question of the defendant’s mental state at the time of the crime. *See, e.g., Drope v. Missouri*, 420 U.S. 162, 176–177 (nonresponsibility and incompetency to stand trial are separate inquiries).]

CONTRACTS ANALYSIS

CONTRACTS I.A., C., & E.; III.A.

ANALYSIS

Legal Problems:

- (1) Does Article 2 of the Uniform Commercial Code or the common law of contracts apply to a dispute under a mixed contract for a transaction in both goods and services?
- (2)(a) When parties have entered into a written agreement which states that it is their complete agreement, under what circumstances are terms that were orally agreed to before the written agreement part of the resulting contract?
- (2)(b) When parties have entered into a written agreement which states that it is their complete agreement, is a subsequent oral agreement part of the resulting contract?
- (3) Is an agreement to modify a contract in which one party gives up rights and gets nothing in return enforceable?

DISCUSSION

Summary

Contracts for the sale of goods are governed by Article 2 of the Uniform Commercial Code; most other contracts are governed by the common law of contracts. In a mixed (or hybrid) contract, involving both goods and nongoods (such as services), courts typically use a “predominant purpose” test to determine which body of law—the common law of contracts or Article 2—applies to the whole contract. In this case, it is not clear whether the goods aspect or the nongoods aspect predominates. Good arguments can be made either way.

Whether an oral agreement that predates a written agreement is part of the resulting contract is governed by the parol evidence rule. Under the common law parol evidence rule, the test is whether the written agreement is completely integrated (in which case a prior oral agreement that is within the scope of the written agreement is discharged by it) or only partially integrated (in which case the prior oral agreement is discharged only if it is inconsistent with the written agreement). Here, a strong argument can be made that the written agreement is completely integrated in light of the statement in the agreement that it is the parties’ “complete agreement.” Yet such a statement is not definitive. If the written agreement is completely integrated, the prior oral agreement about the lodging (which appears to be within the scope of the written agreement) would be discharged by the written agreement. If the written agreement is partially integrated, the prior oral agreement about lodging does not appear to be inconsistent with the written agreement and thus would probably not be discharged.

The parol evidence rule does not apply to the oral agreement lowering the price of the apprenticeship because the rule does not apply to oral agreements entered into subsequent to a written agreement. There was no consideration supporting the potter's agreement to lower the price, so, under the common law, the modification would not be binding on the potter because of the lack of consideration.

Point One (25%)

In this transaction involving both goods and services, the “predominant purpose” of the contract determines whether Article 2 of the Uniform Commercial Code or the common law of contracts governs. Here, persuasive arguments can be made that either the goods aspect or the nongoods aspect predominates.

Contracts for the sale of goods are governed by Article 2 of the Uniform Commercial Code. *See* UCC § 2-102. Most other contracts are governed by the common law of contracts. The contract here is mixed (or “hybrid”) in the sense that it contains both sale-of-goods aspects (the sale of equipment and tools used in the pottery-making process) and nongoods aspects (the apprenticeship training). In such a hybrid contract, involving both goods and nongoods, courts typically use a “predominant purpose” test to determine which body of law applies to the whole contract, rather than dividing the contract into goods and nongoods aspects. *See* James J. White & Robert S. Summers, *Uniform Commercial Code* 28 (6th ed. 2010).

Which aspect predominates here—the sale of the tools and equipment or the apprenticeship training? Comparing the prices assigned to each aspect of the transaction by the parties, the \$5,000 goods portion is larger than the amount attributed to the services portion (whether the initial \$4,000 or the potter's agreement to lower it to \$3,500), suggesting that the goods aspect predominates and, thus, that Article 2 applies. But it can be argued that, notwithstanding the dollar amounts, the apprenticeship aspect predominates. After all, the woman's main interest was to improve her pottery skills through the apprenticeship, and the purchase of the tools and equipment could seem to be secondary to her main purpose. If the apprenticeship aspect predominates, the contract is governed by the common law of contracts.

[NOTE: Good arguments can be made for either conclusion. Credit should be given for understanding of the criterion (predominant purpose) and thoughtful application of that criterion to the facts, regardless of which conclusion the examinee reaches. In addition, answers may note that there are some decisions in which courts have found a contract to be divisible and applied Article 2 to the goods portion and the common law of contracts to the nongoods portion. *See, e.g., Foster v. Colorado Radio Corp.*, 381 F.2d 222 (10th Cir. 1967).]

Point Two (40%)

Under the parol evidence rule, whether the oral agreement relating to lodging is part of the contract will depend on whether the parties intended the subsequent written agreement to be a complete and exclusive statement of the terms of the transaction.

Whether the terms of an oral agreement that predates a written agreement are part of the resulting contract is determined by application of the “parol evidence rule.” The common law parol evidence rule applies if a contract has been reduced to a writing that is “integrated”; that is, constituting a final expression of one or more terms of an agreement. *See* Restatement (Second) of Contracts § 209(2); 3 *Corbin on Contracts* § 588. This is the case here. Notwithstanding the subsequent modification of the agreement, it appears that the parties intended the terms stated in the written agreement to be final with respect to the matters they addressed; thus, the contract was integrated with respect to those terms.

The effect of the integrated writing under the common law parol evidence rule depends on whether the writing is “completely integrated” or only “partially integrated.” A completely integrated agreement, one that is adopted by the parties as a complete and exclusive statement of the terms of the agreement (*see* Restatement (Second) of Contracts § 210(1)), discharges prior agreements to the extent that they are within its scope. Restatement (Second) of Contracts § 213(2). If the writing is only partially integrated (i.e., integrated but not completely integrated), it discharges prior agreements only to the extent that the written agreement is inconsistent with the prior agreement. Restatement (Second) of Contracts § 213(1).

Thus, the fate of the oral agreement about lodging depends on whether the writing in this case is a completely integrated agreement or only partially integrated. If the writing is completely integrated, it will discharge the oral agreement about lodging so long as that oral agreement is within the scope of the writing. It is likely that the statement “This is our complete agreement” would lead a court to conclude that the written agreement is completely integrated “in the absence of credible contrary evidence.” Restatement (Second) of Contracts § 210 cmt b. But “a writing cannot of itself prove its own completeness.” *Id.* In this regard, the Restatement provides that “wide latitude must be allowed for inquiry into circumstances bearing on the intention of the parties” (*see Id.*), and approaches to this inquiry vary from state to state.

A court would likely hold that the oral lodging agreement is within the scope of the writing inasmuch as it deals with arrangements for the apprenticeship. If a court also held that the written agreement is completely integrated, the written agreement would therefore discharge the oral lodging agreement. If, on the other hand, the writing is only partially integrated, it discharges prior agreements only to the extent that it is inconsistent with them. Restatement (Second) of Contracts § 213(1). The oral lodging agreement does not appear to be inconsistent with the written agreement; thus, if the written agreement is held to be only partially integrated, the oral lodging agreement would not be discharged.

[NOTE: The later oral agreement lowering the price of the apprenticeship is not subject to the parol evidence rule. Only prior or contemporaneous terms are subject to the parol evidence rule. *See* Restatement (Second) of Contracts § 213; Arthur L. Corbin, “The Parol Evidence Rule,” 53 *Yale L. J.* 603, 607 (1944). Thus, the parol evidence rule does not prevent the later oral agreement from being part of the parties’ contract.]

Point Three (35%)

Under the common law of contracts, the agreement modifying the parties' contract would not be binding because it was not supported by consideration.

Under the common law, an agreement modifying an existing contract, like other promises, generally must be supported by consideration. *See* Restatement (Second) of Contracts § 71. There was no consideration for the potter's agreement to lower the price of the apprenticeship. Rather, under the modified arrangement the woman had the same duties to the potter as before (while getting the benefit of the lower price). Performance of those existing duties (or, as they are often denominated, "pre-existing duties") is not consideration supporting the potter's agreement to accept a lower price for the apprenticeship than under the original agreement. Restatement (Second) of Contracts § 73. Nor was anything else exchanged in return for the potter's agreement to lower the amount of money to which he was entitled. While there are exceptions to the consideration requirement for modifications, such as the rule in Restatement (Second) Section 89(a) that consideration is not required if the modification is fair and equitable in view of circumstances not anticipated by the parties when the contract was made, no exception is relevant here. Thus, under the common law, the modification would likely not be binding on the potter.

REAL PROPERTY ANALYSIS

REAL PROPERTY II.B.; III.F.; V.B.2.

ANALYSIS

Legal Problems:

- (1) Which present title covenants, if any, did the developer breach?
- (2) Is the man entitled to damages for breach of the covenant against encumbrances because of the existence of the utility easement, which was plain and obvious?
- (3) Can the man force the utility company to remove the sewer lines from the land?
- (4) Is the man entitled to recover \$5,000 from the developer for water damage to his home?

DISCUSSION

Summary

Of the three present title covenants, the developer breached the covenant against encumbrances by giving the man a warranty deed that contained no exceptions. However, because the utility easements were plain, obvious, or well known to the man, the man should not be able to obtain damages for breach of that covenant.

Even if the man is not charged with actual notice of the utility easements, because the utility easements were promptly and properly recorded prior to the man's purchase of the home, the man had constructive (record) notice of them; thus, he cannot compel the removal of the sewer lines from the land.

Finally, the man can recover damages from the developer for breach of the implied warranty of habitability.

Point One (35%)

The developer breached the covenant against encumbrances.

A warranty deed contains six title covenants, three *present* covenants and three *future* covenants. The three *present* covenants are

1. covenant of seisin, a covenant that the grantor owns the land that the deed purports to convey to the grantee;
2. covenant of right to convey, a covenant that the grantor has a right to convey the land; and
3. covenant against encumbrances, a covenant that there is no outstanding right or interest in a third party which does not totally negate the title the grantor purports to convey.

[NOTE: A warranty deed also contains three future covenants. These are (1) the covenant of warranty, (2) the covenant of quiet enjoyment, and (3) the covenant of further assurances. The calls of the question, however, only relate to the present covenants, and examinees should receive no credit for addressing the future covenants.]

See generally Herbert Hovenkamp, Sheldon F. Kurtz & Thomas P. Gallanis, *The Law of Property: An Introductory Survey* § 17.1 (6th ed. 2014).

These warranties of title apply to all easements on the land except to the extent that they have been excepted by the terms of the deed. The fact that the contract between the developer and the man provided for a warranty deed with easements excepted is irrelevant to whether a breach has occurred because, as a result of the so-called merger doctrine, contractual promises relating to title do not survive the closing and the delivery of the deed. In other words, the only promises relating to title that survive the closing are those in the deed. *See* Stoeckel & Whitman, *The Law of Property* 906 (3d ed. 2000).

Here the deed warranted that there were no encumbrances on the land. An encumbrance is “some outstanding right or interest in a third party which does not totally negate the title which the deed purports to convey.” *Id.* at 908. An easement is such an encumbrance. *Id.* Thus, the covenant against encumbrances was breached by the existence of the utility easements on the land.

The developer may claim that the omission from the deed of the exception in the contract for easements and covenants of record was a mutual mistake, perhaps due to a scrivener’s error. Modern courts often apply merger only when use of the doctrine carries out the parties’ probable intent. If a court accepts this argument, there would be no breach of any title covenant, in effect resulting in a reformation of the deed to conform to the parties’ intent.

[NOTE: There is plainly no breach of the other two present covenants. The man received title to the land along with possession, so there is no breach of the covenant of seisin. Nor is there a breach of the covenant of the right to convey. Nothing indicates that the developer lacked the right to convey title to the man.]

Point Two (25%)

The law is unclear whether the man can recover damages for breach of the covenant against encumbrances where, as here, the easement was plain, obvious, or known to the man.

If a court determines that the covenant against encumbrances was breached, it is unclear if the man can recover damages. Courts are divided on the propriety of damages where the easement is plain or obvious or is known to the plaintiff. *Id.* at 909.

The man might argue that, because the developer contracted to exclude the easement from the covenant but then granted the covenant without exclusion in the deed, the developer had knowledge of a change in circumstances that no longer made it necessary to preserve in the deed the exception stated in the contract and therefore willingly gave the warranty.

The developer would likely argue that the man had notice of the easements. Although the underground utilities were not visible, the man had constructive notice of the easements given that they had been recorded, and furthermore, their presence would also have been established through a home inspection prior to the closing, and this would constitute actual notice of their existence. The developer might also argue that, because utilities are essential to use of any house as a typical home, the man must have wanted the benefit of the easements.

Here, the developer has the stronger arguments; the man did have constructive notice of the easements (and possibly actual notice). It would also be unreasonable for a home buyer to recover damages for breach of a warranty for an easement the buyer would have wanted the benefit of for the home. By denying damages to the man, a court would, effectively, recognize that the failure to exclude the easements from the warranty in the deed was a mistake and that damages would provide the man with a windfall.

Even if the court were to find that the man is entitled to damages, he could recover them only to the extent that he could prove the easements reduced the value of the land. This measure is the value of the land not subject to the easements, minus the value of the land as restricted by the easements. Because utility easements are so commonly used in residential building subdivisions, it is possible that the man will not be able to prove any significant decline in value. This may depend on whether the easements are standard and are located along the perimeter of the lot, so as not to interfere with reasonable present or future residential uses of the land.

Point Three (15%)

The man cannot compel the utility company to remove the sewer lines from the land.

Resolution of a dispute between the man and the holder of the sewer line easement is not dependent on or controlled by the fact that the man received a warranty deed from the developer. Rather, the question is whether the man had knowledge of the easements when he purchased the land. The facts state that the utility easements had been promptly and properly recorded prior to the delivery of the deed to the man. Therefore, regardless of the type of notice statute the jurisdiction has (notice, race-notice, or race), the man, even if he had no actual notice of the easements, was on record (or constructive) notice of the easements. Hovenkamp et al., *supra*, at 536. Thus, he takes subject to the easements, and he cannot force the utility company to remove the sewer lines from the land.

Point Four (25%)

The man can recover damages from the developer for breach of the implied warranty that applies to new home construction.

At common law, the rule of caveat emptor applied, and as a result the seller did not make any implied promises to the buyer relating to the condition of the premises. Today, it is generally true that a builder of a new home impliedly warrants to the buyer that the home is habitable and

fit for its intended purposes. Joseph William Singer, *Property* 518 (4th ed. 2014). This implied warranty allows a buyer to recover damages for losses resulting from defective construction or construction that was not done in a workmanlike manner. *See* Barlow Burke and Joseph Snoe, *Property: Examples and Explanations* 420 (3d ed. 2008).

The warranty applies to defects that are discovered within a reasonable period of time, are due to the builder's negligence or failure to do the work in a workmanlike manner, and cannot be attributable to later changes in the structure or to normal deterioration. *Id.* at 377–378. Courts vary in characterizing the warranty as based in contract or in tort law.

Here, the defect in the foundation clearly breaches the warranty. Thus, the man should be able to recover all damages for losses resulting from the developer's breach of the warranty.

CIVIL PROCEDURE ANALYSIS

CIVIL PROCEDURE III.C.

ANALYSIS

Legal Problems:

- (1)(a) Does a party violate Rule 11 by filing an answer containing a general denial, when there is no evidentiary support for the denial of some of the complaint's allegations and the attorney did not make any inquiry into the facts?
- (1)(b) What requirements must a party satisfy before filing a motion for sanctions under Rule 11?
- (2)(a) When an attorney files an answer on behalf of a client that contains a general denial that violates Rule 11, what sanctions should be imposed?
- (2)(b) When an attorney files an answer on behalf of a client that contains a general denial that violates Rule 11, on whom should the sanctions be imposed?

DISCUSSION

Summary

The filing of a general denial by the defendants' attorney violated Federal Rule of Civil Procedure 11. Rule 11 requires an attorney to conduct a reasonable inquiry before filing an answer that denies all of the complaint's allegations. Here it appears that the attorney conducted no inquiry into the facts and that many of the factual allegations that were denied concerned facts that could easily have been checked by the attorney before the answer was filed. In addition, the attorney violated Rule 11 by denying that venue was proper because that denial was a "legal contention" that was not warranted by existing law. Finally, the attorney failed to withdraw or correct the answer, even though the plaintiff properly gave the attorney a 21-day "safe harbor" in which to correct the pleading. Thus, the court should find that the defendants' answer violated Rule 11.

The court has discretion not to impose any sanctions even if it finds a violation of Rule 11. If the court does impose sanctions, it has discretion to choose among a range of monetary and nonmonetary sanctions. If warranted for effective deterrence, the court could order payment to the plaintiff of the reasonable attorney's fees directly resulting from the Rule 11 violation.

The sanctions could be imposed on the defendants' attorney, the law firm of which he is a partner, and the defendants themselves. However, if the court finds that the defendants' attorney violated Rule 11(b)(2) by asserting a legal contention unwarranted by existing law, any monetary sanctions attributable to that violation could be imposed only on the attorney and not on the defendants. The facts do not indicate that the driver and the moving company are responsible for, or even knew of, the attorney's decision to file a general denial. Thus, the sanctions, if any, likely would be imposed on the defendants' attorney and his law firm, and not on the defendants.

Point One(a) (35%)

The court should grant the motion for sanctions because the defendants' attorney violated Rule 11 by filing an answer that contained improper denials of factual and legal contentions.

Every pleading, written motion, or other paper (except for discovery requests and responses) must be signed by an attorney, or by a party if the party is unrepresented. Fed. R. Civ. P. 11(a). An attorney's signature on a pleading "certifies that to the best of the person's knowledge, information, and belief, formed after an inquiry reasonable under the circumstances[.]"

- (1) [the pleading] is not being presented for an improper purpose . . .;
- (2) the . . . legal contentions are warranted by existing law or by a nonfrivolous argument for [changing existing law];
- (3) the factual contentions have evidentiary support or, if specifically so identified, will likely have evidentiary support after a reasonable opportunity for further investigation or discovery; and
- (4) the denials of factual contentions are warranted on the evidence or, if specifically so identified, are reasonably based on belief or a lack of information.

Fed. R. Civ. P. 11(b).

Here, the driver and the moving company filed an answer, which is a "pleading" subject to Rule 11. *See* Fed. R. Civ. P. 7(a) (defining "pleading" to include answer). The facts state that the defendants' attorney signed the answer, as required. *See* Fed. R. Civ. P. 11(a).

The defendants' answer was a general denial, which is technically allowed under the Federal Rules of Civil Procedure, but only if the party "intends in good faith to deny all the allegations of a [complaint]—including the jurisdictional grounds . . ." Fed. R. Civ. P. 8(b)(3). A defendant's answer must respond to legal conclusions stated in the complaint (e.g., an assertion that venue is proper) as well as to factual allegations. *See Farrell v. Pike*, 342 F. Supp. 2d 433, 440–441 (M.D. NC. 2004) (party must respond to both the factual and legal allegations); *Northern Indiana Metals v. Iowa Express, Inc.*, 2008 WL 2756330 (N.D. Ind. 2008) (same). Because "there is almost always something in the complaint that, in good faith, should be admitted," a general denial is likely to be improper in most cases. William W. Schwarzer, A. Wallace Tashima & James M. Wagstaffe, *Practice Guide: Federal Civil Procedure Before Trial* (National ed.) § 8:937 (2014). *See, e.g., Nat'l Rest. Ass'n Educ. Found. v. Shain*, 287 F.R.D. 83, 87 (D.D.C. 2012) (general denial improper when defendant does not contest federal court's jurisdiction, even if other facts are contested).

In this problem, the effect of the general denial was to deny all of the complaint's allegations, including accurate factual contentions that the driver and the moving company would be unable to deny in good faith, such as their state of citizenship and the driver's employment by the moving company at the time of the accident. Because these denials were not "specifically identified" as

being “reasonably based on belief or a lack of information,” they were proper only if they were “warranted on the evidence.” Fed. R. Civ. P. 11(b)(4). However, these denials weren’t warranted on the evidence, as the defendants’ later admissions made clear. In addition, the denial of the propriety of venue was not warranted by the facts or by existing law. Venue is appropriate in the federal district court in which a “substantial part of the events or omissions giving rise to the claim occurred.” 28 U.S.C. § 1391(b)(2). The accident occurred in the district in which the plaintiff filed suit. Even if the defendants’ attorney did not know the venue rule, Rule 11(b)(2) required him to investigate the statutory provision before filing his answer. If he had done so, he would have seen that denying the propriety of venue was unwarranted under the law.

A lawyer who files an inaccurate pleading is not subject to sanctions if the lawyer acted in good faith after making a pre-filing “inquiry” that was “reasonable under the circumstances.” Reasonableness is judged as of the time the pleading was submitted, and depends on “such factors as how much time for investigation was available to the signer; whether he had to rely on a client for information as to the facts underlying the pleading, motion, or other paper; whether the pleading, motion, or other paper was based on a plausible view of the law; or whether he depended on forwarding counsel or another member of the bar.” Fed. R. Civ. P. 11 advisory committee’s note to 1983 amendment. *See, e.g., C.Q. Int’l Co., Inc. v. Rochem Int’l, Inc.*, 659 F.3d 53, 62–63 (1st Cir. 2011) (reasonableness of investigation depends on totality of circumstances, including complexity of subject matter, time available for inquiry, and the ease or difficulty of gaining access to relevant information).

Here, the defendants’ attorney had only a few days to investigate, and the attorney was in the midst of a trial at the time. Nonetheless, the attorney or another member of the firm should have known, or could have easily discovered, simple facts such as the state of citizenship of his clients, that the driver was acting in the course of employment at the time of the accident, and that the driver resided in the district where the action was filed. Even a brief conversation with the clients would have permitted verification of those facts. The inference that the earlier denial of these factual contentions was not “warranted on the evidence” is further supported by the defendants’ response to Requests for Admission, in which the defendants admitted these same facts. On the basis of the facts given in this problem, it seems likely that several of the original factual denials were unwarranted.

Point One(b) (15%)

The plaintiff’s lawyer properly gave the defendants’ attorney an opportunity to correct the pleading before the plaintiff’s lawyer sought Rule 11 sanctions.

Before a party may seek sanctions under Rule 11, the party must serve on the opposing party a motion that describes the specific conduct that allegedly violated the rule. The opposing party must be given 21 days to withdraw or correct the challenged pleading. If the 21-day period passes, and the pleading is not corrected, the motion for sanctions may be filed with the court. Rule 11(c)(2).

Here, the plaintiff's lawyer followed the proper procedure for presenting a Rule 11 motion. First, the motion requesting that the answer be withdrawn and amended to reflect the admissions made in the response to the Requests for Admission was first served on the defendants' attorney. The plaintiff's lawyer then waited at least 21 days, the rule's "safe harbor" period, to allow the defendants' attorney to withdraw or appropriately correct the answer. Fed. R. Civ. P. 11(c)(2). When the attorney failed to do so, the Rule 11 motion was then filed in court. The motion set forth "the specific conduct that allegedly violat[ed] Rule 11(b)," insofar as the plaintiff requested the defendants' attorney to correct the answer by admitting the allegations that had been admitted in the responses to the Requests for Admission. *Id.*

Point Two(a) (30%)

The court has considerable discretion in imposing sanctions. The purpose of any sanctions award should be to deter similar future conduct by this lawyer or others. The sanctions may include an award of reasonable attorney's fees that were incurred because of the violation.

The court will probably determine that the answer violated Rule 11(b)(4) and Rule 11(b)(2). Nonetheless, the court is not obligated to impose any sanctions. Fed. R. Civ. P. 11(c)(1). "Whether a violation has occurred and what sanctions, if any, to impose for a violation are matters committed to the discretion of the trial court . . ." Fed. R. Civ. P. 11 advisory committee's note to 1993 amendment.

Sanctions should be "limited to what suffices to deter repetition of the conduct or comparable conduct by others similarly situated." Fed. R. Civ. P. 11(c)(4). Sanctions can be monetary or nonmonetary. If the sanctions are monetary, they can include "an order to pay a penalty into court; or, if imposed on motion and warranted for effective deterrence, an order directing payment to the movant of part or all of the reasonable attorney's fees and other expenses directly resulting from the violation." *Id.* Examples of nonmonetary sanctions would be "striking the offending paper; issuing an admonition, reprimand, or censure; requiring participation in seminars or other educational programs; . . . [or] referring the matter to disciplinary authorities . . ." Fed. R. Civ. P. 11 advisory committee note to 1993 amendment.

A non-exhaustive list of factors the court may consider in deciding what sanctions, if any, should be imposed for a violation includes

[w]hether the improper conduct was willful, or negligent; whether it was part of a pattern of activity, or an isolated event; whether it infected the entire pleading, or only one particular count or defense; whether the person has engaged in similar conduct in other litigation; whether it was intended to injure; what effect it had on the litigation process in time or expense; whether the responsible person is trained in the law; what amount, given the financial resources of the responsible person, is needed to deter that person from repetition in the same case; what amount is needed to deter similar activity by other litigants . . .

Id.

Here, the defendants admitted, in their response to the Requests for Admission, the very facts they had earlier denied in their answer. This suggests that they were not willfully seeking to impose any unnecessary burden on the plaintiff or to deny uncontested facts. Moreover, because only a few months had gone by, the effect of the offending answer on “the litigation process in time or expense” was likely minimal. On the other hand, if this particular lawyer or law firm had a history of failing to follow the Federal Rules of Civil Procedure, or if improper general denials were a particular problem in this district, then the court here would be justified in ordering sanctions consisting of the plaintiff’s “reasonable” attorney’s fees “directly resulting from the violation.” Fed. R. Civ. P. 11(c)(4). The court would evaluate the time records submitted to ensure that the seven hours of work claimed “directly result[ed] from the violation,” but seven hours does not, on its face, seem unreasonable. Depending on the geographic region of the country and the plaintiff’s attorney’s seniority and level of skill, \$300 per hour is also probably a “reasonable” amount. *Id.* A sanctions award that fully compensates the plaintiff for the costs of challenging the defendants’ attorney’s misconduct can promote deterrence by helping ensure that misconduct does not go unchallenged in the future. *Rentz v. Dynasty Apparel Indus.*, 556 F.3d 389, 399–402 (6th Cir. 2009) (award of nominal sanctions vacated and remanded for reconsideration because sanctions failed to fully compensate moving party for costs of motion and thus were clearly insufficient to promote deterrent purposes of rule).

Point Two(b) (20%)

Sanctions may be imposed upon the defendants’ attorney, his law firm, and the defendants. However, monetary sanctions for asserting an unwarranted legal contention may not be imposed upon the defendants, but only upon the attorney or the law firm.

The court may impose sanctions on “any attorney, law firm, or party that violated the rule or is responsible for the violation.” Fed. R. Civ. P. 11(c)(1). Here, this would certainly include the driver’s and moving company’s attorney. In addition, the attorney’s law firm should probably also be held jointly responsible, because there do not seem to be any “exceptional circumstances” that would justify a departure from the general rule that “a law firm must be held jointly responsible for a violation committed by its partner . . .” *Id.*

There is authority for imposing sanctions on a party when the party authorizes its attorney to pursue a claim that “it knew, or should have known . . . was legally and factually baseless.” *Worldwide Primates, Inc., v. McGreal*, 26 F.3d 1090, 1093 (11th Cir. 1994). But there are no facts here that indicate that the driver and the moving company knew the content of the answer or were responsible for the attorney’s decision to make an unwarranted general denial.

If the plaintiff were to argue that the defendants should also be sanctioned because they contributed to the attorney’s decision to file a general denial by failing to give the attorney a copy of the complaint until very close to the date an answer was due, a court would almost certainly reject that argument.

Civil Procedure Analysis

Even if the defendants were negligent in failing to get the complaint to their attorney at an earlier time, instead of filing a general denial the attorney could have requested an extension of time in which to answer and used that time to conduct a reasonable inquiry into the facts and law. Furthermore, the attorney could have avoided sanctions by filing an amended answer when requested by the plaintiff. There are no facts indicating that the defendants were responsible for these failures by the attorney.

Finally, insofar as the general denial included an unwarranted “legal contention” (e.g., the denial of proper venue), any monetary sanctions resulting from that particular violation could not be imposed upon the driver and the moving company. Fed. R. Civ. P. 11(c)(5)(A).

AGENCY ANALYSIS

AGENCY VI.; VII.; VIII.

ANALYSIS

Legal Problems:

- (1) May a partner properly withdraw from a partnership that has no definite term or specific undertaking?
- (2) What is the legal effect of a partner's withdrawal from an at-will partnership— both on the partnership and on the withdrawing partner's duties?
- (3) What are the duties of a withdrawing partner during the winding up of a dissolved partnership with respect to business opportunities that came to the partner's attention during the partnership?

DISCUSSION

Summary

The man had the right to withdraw from the partnership, and his email stating that he was “leaving” expressed his will to withdraw. His withdrawal was not wrongful, given that the partnership had no definite term or particular undertaking.

The man's withdrawal from the partnership caused the partnership to be dissolved, but this dissolution did not terminate the man's duties to the woman during the winding up of the partnership business. During the winding up of the partnership business, the man continued to owe fiduciary duties to the partnership and the woman, as well as duties of good faith and fair dealing.

The opportunity to purchase the building was a partnership opportunity because of the partnership's prior interest in owning the building and because the opportunity was presented to the man while the partnership was still in existence and prior to its dissolution. The man's purchase of the building violated his duty of loyalty not to appropriate partnership opportunities during the winding-up process, and the purchase was not in good faith because the man failed to inform the woman of the opportunity when he learned of it before he withdrew from the partnership.

[NOTE: An examinee may analyze this question under either the Uniform Partnership Act (1914) (UPA) or the Revised Uniform Partnership Act (1997, as amended in 2013) (RUPA). Although the terminology regarding partnership dissolution and winding up are somewhat different under the two Acts, the legal ramifications of the partner's withdrawal in this two- person, at-will partnership are essentially the same under both Acts. In addition, the revised Act codifies and clarifies the fiduciary duties of partners, and the analysis on this topic cites both the RUPA provisions and applicable case law.

Agency Analysis

All states, except Louisiana, have adopted a version of the Uniform Partnership Act. As of 2017, most states (37) have adopted the revised Act, though only a handful have adopted the 2013 amendments. The original Act, however, remains applicable in the following MEE jurisdictions: Missouri, New Hampshire, New York, Rhode Island, and Wisconsin. *See* Uniform Law Commission, Partnership Act.]

Point One (25%)

The man's email to the woman constituted a withdrawal from the partnership and did not violate the partnership agreement.

A partner may withdraw from a partnership by giving notice at any time. UPA § 31; RUPA § 601(1) (partner is “disassociated” from partnership upon partnership having notice of partner’s “express will to withdraw”). A partner always has the power to withdraw by express will, even if such withdrawal is wrongful or in contravention of the partnership agreement, such as early withdrawal from a partnership with a definite term. UPA § 31(2); RUPA § 601; *see also* Comment 1 to RUPA § 601 (partnership cannot eliminate *power* of partner to dissociate, but can eliminate *right* to dissociate and make such dissociation wrongful).

Dissolution is caused without any violation of the partnership agreement when, among other circumstances, a partner withdraws from an at-will partnership. UPA § 31(1)(b); RUPA § 801(1). In the absence of a definite term or particular undertaking, a partnership is deemed to be at will. *See* Comment, RUPA § 102(13) (partnership at will is “default mode,” unless partners have agreed to definite term or particular undertaking). *See also* *Girard Bank v. Haley*, 332 A.2d 443, 447 (Pa. 1975) (explaining that “particular undertaking” must be capable of accomplishment at some time, although the exact time may be unknown).

Here, the man’s email to the woman constituted a withdrawal from the partnership and did not violate the partnership agreement, given that there is no indication that the partners (who had been carrying on the business for many years) had agreed on a definite term or particular undertaking for their natural-foods store partnership. Thus, the man’s withdrawal from their at-will partnership was proper.

Point Two (25%)

The man's withdrawal from the partnership caused the partnership to be dissolved, but did not terminate the man's duties to the woman during the winding-up process.

Dissolution of a partnership results in a change in the legal relation of the partners but does not immediately terminate the partnership or the rights and powers of the partners. *See* UPA § 29; RUPA § 801(1) (in at-will partnership, notice of partner’s withdrawal causes partnership to be dissolved, and business must be wound up). Upon dissolution, the partnership continues until the winding up of partnership affairs is completed. UPA § 30; RUPA § 802(a) (partnership continues only for purposes of winding up).

Thus, dissolution marks the point when the partners cease carrying on the partnership business together and begin a process of settling the partnership affairs. The partners' rights, powers, and duties continue during the winding-up process that follows dissolution, during which the partnership liabilities are paid, the business is settled and closed, and the partnership assets are distributed. *See* RUPA § 802(b)(1). The partners' legal relationship and the partnership terminate only when all of the partnership affairs are completely wound up. UPA § 30; RUPA § 802(a).

Under the Uniform Partnership Act (1914), a partnership at will is dissolved by the express will of any partner, and any partner of the dissolved partnership has the right to have the partnership business wound up. UPA §§ 31(1)(b), 38(1). A similar result follows under the Revised Uniform Partnership Act, which provides that a partner in a partnership at will can dissociate from the partnership by that partner's express will, and upon dissociation the partnership is dissolved and its business must be wound up. *See* RUPA §§ 601(1), 801(1); *see also Fleming v. Hagen Estate*, 702 N.W.2d 786, 789 (Minn. Ct. App. 2005) (under revised act, withdrawal from partnership results in dissolution only in at-will partnership).

Here, although the man's withdrawal (or dissociation) caused their at-will partnership to be dissolved, the man continued to have duties to the woman and the partnership during the winding-up process. Because the man's withdrawal (dissociation) from the partnership was not wrongful, he had the power and the right to participate in the winding up of the partnership business, and his actions during that period bound the partnership. *See* UPA § 37; RUPA § 804(a) (dissolved partnership bound by acts of partner "appropriate for winding up the partnership business").

Point Three (50%)

During the winding-up process, the man owed the woman a fiduciary duty to account to the partnership for any benefit derived from the appropriation of a partnership opportunity, as well as duties of good faith and fair dealing. The man's purchase of the building for himself, without telling the woman, breached these duties.

During the winding-up process, partners who participate in the winding up of partnership business continue to have a fiduciary relationship to the partnership and the other partners. *See* RUPA § 409 (except for duty not to compete with partnership, all of partner's fiduciary duties continue to apply during "winding up of the partnership business").

Among the partner's fiduciary duties is a duty to account to the partnership for any benefit derived by the partner from the appropriation of any partnership opportunities. *See* RUPA § 409(b)(1)(C) (duty arises "in the conduct or the winding up of the partnership's business"). The duty not to appropriate partnership opportunities continues during the winding-up process, although "the scope of the partnership opportunities inevitably narrows." *See* Comment to RUPA § 409(b)(1)(C); *see also Bayer v. Bayer*, 215 App. Div. 454, 214 N.Y.S. 322 (1926) (partner's fiduciary duties in a dissolved partnership no longer extend to looking to the future of the business).

Agency Analysis

A partnership opportunity includes one that is “closely related to the entity’s existing or prospective line of business, [that] would competitively advantage the partnership, and . . . that the partnership has the financial ability, knowledge and experience to pursue” *Triple Five of Minn., Inc. v. Simon*, 404 F.3d 1088, 1096 (8th Cir. 2005). A partner who learns of a business opportunity during the term of a partnership may not appropriate that opportunity (without sharing with his co-partners) during the winding-up process or after the partnership term ends. *See Meinhard v. Salmon*, 164 N.E. 545, 546 (N.Y. 1928) (lease extension and expansion beyond term of original joint venture); *Fouchek v. Janicek*, 225 P.2d 783 (Ore. Sup. Ct. 1950).

In addition, the partner must perform his duties during the winding up of the partnership business “consistently with the contractual obligation of good faith and fair dealing.” RUPA § 409(d). The obligations of good faith and fair dealing encompass a disclosure duty. *See* Comment 4 to RUPA (1997) § 404; *see also Hamilton Co. v. Hamilton Tile Corp.*, 23 Misc.2d 589, 197 N.Y.S.2d 384 (N.Y. Sup. Ct. 1960) (partner’s dealings during the winding-up process include continuing duties of “good faith and full disclosure”); 59A Am. Jur. 2d Partnership § 291, Termination of Partnership (2015) (dissociated partner may not use confidential partnership information after dissociation).

Here, the opportunity to purchase the building in which the store was located constituted a partnership opportunity. The partners’ prior interest in purchasing the building indicates that ownership of the building was an expectancy of the partnership, and there is no indication that the partnership lacked the financial resources to buy the building. Further, given the goodwill that the store had gained at its location, ownership of the building would likely be a partnership opportunity because owning and not having to lease the building would enhance the value of the partnership’s ongoing business. *See* Comment to RUPA (1997) § 803 (recognizing value of preserving partnership business as a going concern during winding-up process); *see also Paciaroni v. Crane*, 408 A.2d 946 (Del. Ch. 1979). In fact, the man’s eagerness to purchase the building provides evidence that ownership of the building created value for the ongoing business of operating the natural-foods store at that location.

The man breached his fiduciary duty to the partnership and the woman by not informing the woman of the opportunity to purchase the building so that their partnership could have acquired the goodwill (customer loyalty) that attached to the building’s location. In addition, the man breached his duty of good faith and fair dealing by not informing the woman of this business opportunity.

The man breached his duties to the partnership and the woman even though he did not begin negotiations for the building’s purchase and did not purchase the building until after withdrawing from the partnership. Courts have found a breach of fiduciary duties even when final negotiations and purchase of the partnership opportunity occur after withdrawal. *See Dzen v. Dzen*, 1999 WL 130545 (Conn. Super. Ct. 1999) (breach of fiduciary duty when partner, after withdrawal and during winding up of partnership, purchased property that had been leased to partnership); *Lavin v. Ehrlich*, 363 N.Y.S.2d 50 (Sup. Ct. 1974) (same).

Agency Analysis

[NOTE: An examinee might conclude that the man's continuation of the natural-foods store with the same customers, suppliers, and employees of the partnership also constituted a breach of duties to the partnership and the woman. These continuing dealings, however, are not raised in the question.]

An examinee might also point out that the proper remedy in this case would be for the man to hold the building in trust as a partnership asset, thus allowing the woman to participate in the building's special value to the partnership. But the proper remedy for the man's breach of his duties is not raised in the question.]

July 2018
MEE Questions
and Analyses

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the July 2018 MEE. (In the actual test, the questions are simply numbered rather than being identified by area of law.) The instructions for the test appear on page iii.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, identified by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Contracts question on the July 2018 MEE tested the following areas from the Contracts outline: I.A. Formation of contracts—Mutual assent (including offer and acceptance, and unilateral, bilateral, and implied-in-fact contracts); and D. Obligations enforceable without a bargained-for exchange (including reliance and restitution).

For more information about the MEE, including subject matter outlines, visit the NCBE website at www.ncbex.org.

Description of the MEE

The MEE consists of six 30-minute questions and is a component of the Uniform Bar Examination (UBE). It is administered by user jurisdictions as part of the bar examination on the Tuesday before the last Wednesday in February and July of each year. Areas of law that may be covered on the MEE include the following: Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Civil Procedure, Conflict of Laws, Constitutional Law, Contracts (including Article 2 [Sales] of the Uniform Commercial Code), Criminal Law and Procedure, Evidence, Family Law, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Article 9 (Secured Transactions) of the Uniform Commercial Code. Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusions. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Examinees testing in UBE jurisdictions must answer questions according to generally accepted fundamental legal principles. Examinees in non-UBE jurisdictions should answer according to generally accepted fundamental legal principles unless your testing jurisdiction has instructed you to answer according to local case or statutory law.

July 2018 MEE Questions

Constitutional Law

Contracts

Real Property

Trusts & Future Interests

Evidence

Corporations & LLCs

CONSTITUTIONAL LAW QUESTION

In *Gonzales v. Raich*, 545 U.S. 1 (2005), the Supreme Court held that Congress has the power under the Commerce Clause of Article I, Section 8, of the Constitution “to prohibit the local cultivation and use of marijuana,” even when applicable state law permits such cultivation and even when the cultivation and use are entirely within state borders. At the time of that decision, at least nine states authorized the use of marijuana for medicinal reasons. Since the decision, medicinal use of marijuana has been approved in numerous other states, and some states have also begun to allow the recreational use of marijuana.

Concerned with the widespread disregard of federal law in states that have “legalized” marijuana use, Congress recently passed the Federal Drug Abuse Prevention Act. Sections 11 and 15 of that Act provide as follows:

Section 11. Any state law enforcement officer or agency that takes any individual person into custody for violation of any state law must make a reasonable investigation within five business days to ascertain whether the individual in custody was under the influence of marijuana at the time of the alleged offense. Such officers or agencies must file monthly reports with the federal Drug Enforcement Agency on the outcome of these required investigations, including the name of any individual determined to have been under the influence of marijuana at the time of his or her alleged offense.

Section 15. No state government, state agency, or unit of local government within a state shall be eligible to receive any funding through the federal Justice Assistance Grant program unless use of marijuana is a criminal act in that state.

The Justice Assistance Grant program has been in existence for many years. It is the primary program through which the federal government provides financial assistance for state law enforcement agencies. Last year, the federal government made approximately \$300 million in grants to state and local law enforcement agencies through this program. Congress has appropriated another \$300 million for such grants in the upcoming fiscal year.

State A has a population of about 4 million people. Its crime rate is below average. Last year, total spending by law enforcement agencies in State A was \$600 million, of which \$10 million came from federal grants under the Justice Assistance Grant program.

State A recently adopted legislation decriminalizing the use of marijuana for all purposes by persons over the age of 21.

As applied to State A,

1. Is Section 11 of the Federal Drug Abuse Prevention Act a constitutional exercise of federal power? Explain.
2. Is Section 15 of the Federal Drug Abuse Prevention Act a constitutional exercise of federal power? Explain.

CONTRACTS QUESTION

A homeowner, who knew that his neighbor wanted to buy a lawn mower, called the neighbor and offered to sell his lawn mower to her for \$350. The neighbor replied, “No way! That price is too high.” The homeowner responded, “The price is a good one. See if you can find another lawn mower as good as mine for as little as \$350. I’m confident that you’ll come to your senses. In fact, I’m so confident that not only am I still willing to sell you the lawn mower for \$350, but I promise to keep this offer open for a week so that you have time to do some comparison shopping. If you don’t get back to me within a week, I’ll sell the lawn mower to someone who knows what a good value it is.”

Four days later, the neighbor concluded that \$350 was, indeed, a very good price for the homeowner’s lawn mower. Accordingly, she decided that she would go see the homeowner the next morning and accept the offer to buy the lawn mower from him for \$350. That evening, the neighbor got a telephone call from an acquaintance who lived on the same block as the homeowner and the neighbor. The acquaintance said, “Congratulate me! I just got a great deal on a used lawn mower. [The homeowner] agreed to sell me his lawn mower for \$375. At that price, it’s a steal. I’m picking it up tomorrow afternoon.” The neighbor replied, “This must be a mistake; he offered to sell that lawn mower to me.” The acquaintance said, “There’s no mistake; we wrote up the deal and everything. I’ll come by your place right now and show you the signed contract.” A few minutes later, the acquaintance went to the neighbor’s house and showed her a signed document pursuant to which the homeowner had agreed to sell his used lawn mower to the acquaintance for \$375.

The neighbor went to the homeowner’s house the first thing the next morning, rang his doorbell, and as soon as the homeowner came to the door, said, “I accept your offer.” The homeowner replied, “Too late. I’ve agreed to sell the mower to someone else for \$375. Next time, act quickly when you are presented with such a great bargain.”

The neighbor is furious about the homeowner’s refusal to sell her the lawn mower for \$350. In her view, the homeowner was bound to keep his offer open for a week and, in any event, her statement “I accept your offer” created a contract that bound the homeowner to the deal.

1. Was the homeowner bound by his promise to keep his offer open for a week? Explain.
2. Assuming that the homeowner was not bound by his promise to keep the offer open, did the neighbor’s statement “I accept your offer” create a contract with the homeowner for the sale of the lawn mower? Explain.

REAL PROPERTY QUESTION

In 2015, a man purchased a convenience store that sells gasoline and snack-type grocery items. The man's store is located within two miles of three other convenience stores that are larger and contain small dining areas. When he bought the store, the man planned to expand it as soon as he could in order to offer the same services and products as the other three stores in the area.

In 2017, the local zoning board passed an ordinance that rezoned the district in which all four stores are located from "light commercial" to "residential." Convenience stores are not "residential" uses. The zoning ordinance contained typical language protecting existing nonconforming uses.

In early 2018, the man decided to expand his store by 1,100 square feet to add a small dining area. To finance this expansion, he obtained a \$200,000 loan commitment from a local bank, with the funds to be disbursed at such times and in such amounts as the bank determined to be appropriate if, in the bank's good-faith judgment, there was "satisfactory progress" being made on the project. Documents reflecting this commitment were signed by the man and the bank, and a mortgage to secure the repayment of the loan was promptly and properly filed in the local land records office.

Two weeks after obtaining the loan commitment, the man signed a contract with a general contractor for construction of the store expansion. In compliance with its loan commitment, the bank disbursed \$50,000 to the man, who, in turn, paid that sum to the general contractor. Construction began immediately thereafter.

Four weeks into the project, a plumbing subcontractor installed all the plumbing fixtures. After the general contractor failed to pay the \$20,000 agreed price to the subcontractor, the subcontractor immediately filed a mechanic's lien against the man's property in the local land records office to secure its claim for \$20,000.

Eight weeks into the project, the bank disbursed an additional \$40,000 to the man, who, in turn, paid \$40,000 to the general contractor. The general contractor used these funds to pay various creditors, but not the plumbing subcontractor.

Two weeks ago, a bank loan officer learned for the first time about the mechanic's lien. The next day, when the man approached the bank about making another disbursement, the loan officer refused. The man asserts that, under the loan agreement, the bank is obligated to disburse further funds.

1. Is the expansion project a nonconforming use? Explain.
2. Assuming that the expansion project does not violate the zoning classification, is the bank obligated to disburse further funds? Explain.
3. Does the mechanic's lien have priority, in whole or in part, over the bank's mortgage? Explain.

TRUSTS & FUTURE INTERESTS QUESTION

By his will, a testator created a trust of a small house and an apartment building containing six three-bedroom apartments. The will directed the trustee to sell the house within six months of the testator's death. The will also provided, in relevant part, that "all trust income will be paid to my cousin, Albert, during his lifetime" and that "upon Albert's death, all trust principal will be distributed to my granddaughter, Betty." Neither the will nor the trust made any provision for the testator's son, who was living at the time the will was executed. Shortly after making this will in 2006, the testator died.

After the trust was created, the trustee sold the house for \$100,000 and properly invested the sale proceeds. All six apartments in the apartment building were rented at market rates ranging from \$1,200 to \$1,400 per month.

In 2010, one apartment, which had been rented for \$1,300 per month, was vacated. The trustee thereafter rented this apartment to himself for \$1,300 per month. The other five apartments continued to be rented throughout the term of the trust at market rates of between \$1,200 and \$1,400 per month.

In 2012, a portion of the apartment building's roof was destroyed by fire. Because the trustee had not purchased a fire insurance policy, he spent \$50,000 to repair the roof. The trustee charged this expense to trust income even though the trust had liquid assets of more than \$120,000 that could have been used to pay for the repair. Because the roof repair was charged to trust income, Albert received \$50,000 less income from the trust in 2012 than he had received in prior years.

In 2013, Betty died. Betty was survived by her husband and a daughter. Under Betty's duly probated will, she left her entire estate to her husband. If Betty had died intestate, her estate would have been distributed equally between her husband and her daughter.

There is no applicable statute relevant to the disposition of Betty's interest in the trust.

In 2018, Albert died. Albert was survived by Betty's husband and Betty's daughter. Albert was also survived by the testator's son.

1. What fiduciary duties, if any, did the trustee violate in administering the trust? Explain.
2. Upon Albert's death, how should the trust principal be distributed? Explain.

EVIDENCE QUESTION

A woman has sued a man for injuries she received in an automobile collision at a suburban traffic circle in State A on January 1. Both drivers were driving alone, there were no other witnesses, and a forensic accident investigation failed to determine which of the two drivers was at fault.

Among other things, the woman's complaint alleges the following:

1. The woman was driving her pickup truck in the traffic circle at or below the speed limit when the man suddenly pulled his car into the traffic circle immediately in front of her.
2. The man's action left the woman no opportunity to slow down, stop, or avoid colliding with his car.
3. The woman observed that the man was texting on his phone when he entered the traffic circle and did not see him look up to check for traffic before entering the circle.
4. The accident caused the onset of significant neck pain for the woman requiring extensive medical treatment and resulting in lost wages.

The man has denied that he was texting at the time of the accident and alleges that the accident was the woman's fault. According to the man, the woman was driving her truck substantially over the speed limit, her brakes were defective, and despite the fact that the man's car was far ahead of the woman's truck when he entered the traffic circle, the woman failed to slow down to avoid a collision.

A jury trial has been scheduled.

The man's attorney plans to offer the following evidence:

- (a) Testimony by a mechanic to the effect that "I inspected [the woman's] truck a week before the accident. The brakes on the truck were worn and in need of repair. I ordered new parts."
- (b) A written invoice signed by the mechanic stating: "New parts for [the woman's] truck brakes ordered on December 23 and received on January 2," found in the mechanic's file cabinet among similar invoices for other customers.
- (c) Testimony by the woman's doctor, who treated the woman for neck pain after the accident, that the woman told the doctor, "I have suffered from painful arthritis in my neck for the past five years."

The woman's attorney plans to call the man's roommate to testify that "[the man] is addicted to texting and never puts his phone down. He even texts while driving."

Evidence Question

State A has adopted evidence rules identical to the Federal Rules of Evidence.

1. Is the mechanic's testimony admissible? Explain.
2. Is the invoice for the new parts for the woman's truck brakes admissible? Explain.
3. Is the doctor's testimony admissible? Explain.
4. Is the roommate's testimony admissible? Explain.

CORPORATIONS & LLCs QUESTION

A woman and a man decided to start a solar-panel installation business in State X. They agreed to incorporate the business and to be equal shareholders. They also agreed that the woman would be solely responsible for managing the business.

On November 10, the woman mailed to the Secretary of State of State X a document titled “Articles of Incorporation.” The document included the name of the corporation (Solar Inc.), the name and address of the corporation’s registered agent, and the woman’s name and address (as incorporator). The woman, however, inadvertently failed to include in the document the number of authorized shares, as required by the business corporation act of State X, which in all respects comports with the Model Business Corporation Act (1984, as revised). The woman signed the document and included a check to cover the filing fee.

On November 20, the woman, assuming that the articles of incorporation had been filed and purporting to act on behalf of the corporation, entered into a one-year employment contract with a solar-panel installer. The woman signed the employment contract as “President, Solar Inc.” and the installer signed immediately below.

On November 30, the woman received a letter from the Secretary of State’s office returning the articles of incorporation and her check. The letter stated that the articles, although received on November 15, had not been filed because they failed to include the number of authorized shares, as required by state law.

On receiving this letter, the woman immediately revised the articles by adding the number of authorized shares. On December 5, the woman mailed back the revised articles to the Secretary of State’s office, along with another check to cover the filing fee. The revised articles of incorporation were received and filed by the Secretary of State’s office on December 10.

Six months later, Solar Inc. went out of business and the installer’s employment was terminated.

1. When did Solar Inc. come into existence? Explain.
2. Is the woman personally liable to the installer on the employment contract that she signed? Explain.
3. Is the man personally liable to the installer on the employment contract? Explain.

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CONSTITUTIONAL LAW ANALYSIS

CONSTITUTIONAL LAW II.A.1.; III.A.

ANALYSIS

Legal Problems:

- (1) May the federal government force a state law enforcement officer or agency to assist in the enforcement of federal drug laws by requiring the officer or agency to conduct investigations of possible drug use by persons they take into custody and to make reports to the federal government?
- (2) May the federal government condition the grant of federal money for state and local law enforcement activities on a state's adoption of laws that criminalize use of federally controlled drugs?

DISCUSSION

Summary

In the Federal Drug Abuse Prevention Act, Congress has sought to induce the states to adhere to the federal policy of criminalizing the use of marijuana. The issue in this problem is whether Congress's efforts in this regard unconstitutionally intrude upon the sovereignty that the Constitution reserves to the states.

Section 11 of the Federal Drug Abuse Prevention Act is unconstitutional because it seeks to commandeer state officers or agencies to provide assistance in the enforcement of federal drug laws. Federal directives requiring the states to carry out federal regulatory programs are inconsistent with the system of dual sovereignty created by the federal structure of the Constitution.

Section 15 of the Federal Drug Abuse Prevention Act, on the other hand, is a constitutional exercise of Congress's spending power. When Congress provides funds to the states, it may condition those funds on a state's compliance with federal directives, provided that the law meets certain requirements. Those requirements are met here: Congress's decision to spend money on state and local law enforcement activities is in pursuit of the general welfare. The condition it is imposing on a state's receipt of that funding is unambiguous. The requirement that federally unlawful drug use must be criminalized at the state level bears a close relationship to the law enforcement objectives of the spending program, and the condition imposed by the federal government is not barred by any constitutional provision. Finally, Congress's threat to withhold a relatively small amount of federal money is not so coercive as to improperly intrude upon state sovereignty.

Point One (50%)

The federal government may not command a law enforcement officer or agency of State A to investigate and report on potential violations of federal law.

The central issue raised by the statute described in this question (the “Federal Drug Abuse Prevention Act”) is whether its provisions violate fundamental principles of federalism. Under the system of dual sovereignty established by the Constitution, the States “retai[n] a significant measure of sovereign authority,” *Garcia v. San Antonio Metropolitan Transit Authority*, 469 U.S. 528, 549 (1985). The Tenth Amendment confirms that the powers of the federal government are subject, in some cases, to limits necessary to protect “state sovereignty” from federal intrusion. One of those limits is that Congress may not “require the States to govern according to Congress’[s] instructions.” *New York v. United States*, 505 U.S. 144, 162 (1992). *See also Hodel v. Virginia Surface Mining & Reclamation Ass’n, Inc.*, 452 U.S. 264, 288 (1981) (federal law that “commandeers the legislative processes of the States by directly compelling them to enact and enforce a federal regulatory program” is unconstitutional); *Murphy v. NCAA*, ____ U.S. ____, 138 S. Ct. 1461 (2018).

In *Printz v. United States*, 521 U.S. 898, 935 (1997), the Supreme Court held that “commandeering” of State officials was also unconstitutional under the federalism principle emanating from the Tenth Amendment. In *Printz*, Congress ordered state law enforcement officials to conduct background checks of persons purchasing firearms. By legislating to force the law enforcement officers to take certain actions “in their official capacities as state officers,” the Court said, Congress was acting to control their actions “as agents of the State.” *Id.* at 930. Such an effort by the federal government “to direct the functioning of the state executive, and hence to compromise the structural framework of dual sovereignty” is unconstitutional. *Id.* at 932. The Court held definitively that “the Federal Government may neither issue directives requiring the States to address particular problems, nor command the States’ officers, or those of their political subdivisions, to administer or enforce a federal regulatory program.” *Id.* at 935. Section 11 of the Federal Drug Abuse Prevention Act violates federalism principles. The law requires a State A law enforcement officer or agency to undertake investigations aimed at detecting violations of federal drug laws and to report to federal authorities on suspected violations. It seeks to compel state officers to participate in the enforcement of the federal laws against the use of marijuana and thus unconstitutionally intrudes upon state sovereign authority.

Point Two (50%)

The federal government probably can deny federal law enforcement funds to State A if it does not criminalize the use of marijuana.

Section 15 of the Federal Drug Abuse Prevention Act seeks to implement the federal anti-marijuana policy by denying funding from the Justice Assistance Grant program to states that do not criminalize use of marijuana. Congress may use a threat to withhold federal money to induce a state to exercise its sovereign authority (e.g., by passing certain laws) to achieve congressional goals. The Supreme Court has repeatedly held that such threats are constitutional exercises of Congress’s power to spend money for the “general welfare of the United States” unless they are unduly coercive.

In *South Dakota v. Dole*, 483 U.S. 203 (1987), the Court held that Congress may condition the states' receipt or use of federal funds on state compliance with "federal statutory and administrative directives." 483 U.S. at 206. When using its spending power in this way, Congress must satisfy certain requirements. First, the spending must be for the general welfare, although a "court should defer substantially to the judgment of Congress" in this regard. *Id.* at 207. Second, the condition imposed by Congress must be imposed unambiguously. Third, the condition imposed must be related "to the federal interest in particular national projects or programs." *Id.* Fourth, the condition imposed must not "be used to induce the States to engage in activities that would themselves be unconstitutional." *Id.* at 210. Finally, a condition will be deemed improper if it is "so coercive as to pass the point at which 'pressure turns into compulsion.'" *Id.* at 211. See *National Federation of Independent Business v. Sebelius*, 567 U.S. 519 (2012) (conditioning continued receipt of Medicaid funds on compliance with new requirements was unconstitutional "economic dragooning that leaves the States with no real option but to acquiesce . . ." because threatened funding constituted over 10% of State budgets. *Id.* at 582).

In this case, Section 15 of the Act is probably constitutional. First, both the federal spending program and the imposed condition are in pursuit of the general welfare. The Supreme Court has said that Congress's view of "the general welfare" deserves substantial deference, and there is no reason to believe that a court would second-guess Congress's judgment that the general welfare is served by assisting with the funding of state law enforcement agencies in states that criminalize the use of drugs that Congress considers dangerous.

The other three basic requirements are also satisfied. The condition being imposed on states that receive funding from this particular program is unambiguous. The condition also relates generally to the purpose of the federal funding, which is evidently to support and improve state and local law enforcement. Finally, a requirement that the states criminalize the use of certain drugs does not induce any state to engage in unconstitutional activity.

The threat of a loss of Justice Assistance Grant funds is probably not so coercive as to amount to an unconstitutional intrusion on State A's sovereignty. The amount of money involved in this case (\$10 million) is only a small fraction (less than 2%) of State A's law enforcement budget and thus likely a far smaller part of its total state budget. This is utterly unlike the substantial economic loss (typically 10% of the entire state budget) that faced the states in *Sebelius*, where the Court concluded that the states had "no real option" other than to follow federal wishes. Rather, this is much closer to the "relatively mild encouragement" that was upheld in *South Dakota v. Dole* (requiring South Dakota to raise drinking age to 21 years or lose highway funding amounting to less than half of one percent of the state's total budget). In short, although the funding condition acts as an incentive for State A to adhere to federal policy, it does not "indirectly coerce[]" the State "to adopt a federal regulatory system as its own." *Sebelius*, 567 U.S. at 578. It therefore is a proper exercise of Congress's spending power and does not run afoul of constitutional principles of federalism.

CONTRACTS ANALYSIS

CONTRACTS I.A., D.

ANALYSIS

Legal Problems:

- (1) What body of contract law governs this dispute?
- (2) Is a promise to keep an offer to sell goods open for a week binding when the offer is made by a nonmerchant and is not supported by consideration?
- (3) Does an expression of acceptance of an offer create a contract when the offeree is aware that the offeror has taken actions inconsistent with an intention to enter into the contract?

DISCUSSION

Summary

Because the lawn mower constitutes “goods,” the transaction is within the scope of Article 2 of the Uniform Commercial Code, although common law principles remain applicable to the extent that they are not displaced by the UCC.

The homeowner made an offer to sell the lawn mower to the neighbor and promised to hold that offer open for a week. That promise was not supported by consideration, and no exception in UCC Article 2 overrides the requirement of consideration to make that promise binding. Accordingly, the promise to hold the offer open was not binding.

The neighbor’s expression of acceptance of the homeowner’s offer would have created a contract for the sale of the lawn mower if the offer had not been revoked. But the offer was probably revoked when the neighbor learned from the acquaintance that the homeowner had contracted to sell the lawn mower to the acquaintance. Thus, the neighbor’s attempt to accept the offer was probably too late, and no contract was formed.

Point One (20%)

The lawn mower constitutes goods. Therefore, the transaction between the homeowner and the neighbor is a “transaction in goods” and thus governed by Article 2 of the Uniform Commercial Code.

UCC Article 2 governs “transactions in goods.” UCC § 2-102. Lawn mowers are goods. *See* UCC § 2-105(1). Thus, the transaction in question is a transaction in goods that is governed by Article 2 of the UCC. Common law principles remain applicable, though, to the extent not displaced by the UCC. UCC § 1-103(b).

Point Two (40%)

The homeowner's promise to hold his offer open for one week was not supported by consideration and thus, under common law contract principles, was not binding. The promise was not otherwise made enforceable by Article 2 of the UCC.

The homeowner's statement at the beginning of the conversation with the neighbor was an offer to sell her the lawn mower, and her reply was a rejection of that offer. The homeowner followed up, however, by renewing the offer and promising to hold it open for a week. Under the common law of contracts, an offer may be revoked by the offeror at any time before acceptance unless an option contract is created limiting the power of revocation. Restatement (Second), Contracts §§ 25, 87. Here, however, no option contract was created.

First, there was no consideration for the homeowner's promise to keep the offer open, and there was no writing reciting a purported consideration. Restatement (Second), Contracts § 25, cmt. c, and § 87(1)(a). As a result, the promise to hold the offer open was not enforceable under the general rule requiring consideration for such a promise.

Second, as the Restatement notes, a promise to hold an offer open may be made binding by statute. *Id.* § 87(1)(b). Because the lawn mower constitutes goods, Article 2 of the Uniform Commercial Code is the relevant statute. In some circumstances, UCC § 2-205 makes a promise to hold open an offer to buy or sell goods binding, even in the absence of consideration. UCC § 2-205 does not apply in these facts, however. First of all, it applies only to an offer by a "merchant." The term "merchant" is defined in UCC § 2-104(1) as "a person who deals in goods of the kind or otherwise by his occupation holds himself out as having knowledge or skill peculiar to the practices or goods involved in the transaction . . ." Under these facts, the homeowner is not a merchant. Second, UCC § 2-205 applies only to an offer made in a signed writing. In this case, however, the offer by the homeowner was oral. Therefore, the homeowner's promise to hold the offer open was not made binding by statute.

In some cases, "an offer which the offeror should reasonably expect to induce action or forbearance of a substantial character on the part of the offeree before acceptance and which does induce such action or forbearance is binding as an option contract." Restatement (Second), Contracts § 87(2). There is nothing in these facts, however, that would justify application of this rule.

In sum, the homeowner was not bound by his promise to hold the offer open for a week and could revoke it at any time.

Point Three (40%)

A contract would have been formed if the neighbor had accepted the homeowner's offer before it was revoked. Here, the offer was probably revoked when the neighbor learned from the acquaintance that the homeowner had contracted to sell the lawn mower to the acquaintance.

An offeree may accept an offer and thereby create a contract unless the offeree's power of acceptance has been terminated. Restatement (Second), Contracts §§ 35(2), 36. The power of acceptance may be terminated by a rejection or counteroffer by the offeree, the lapse of time, revocation by the offeror, or death or incapacity of either party. *Id.* § 36(1). Here, none of those events is relevant except for revocation by the offeror. (In these circumstances, it does not appear that four days would constitute a sufficient lapse of time, especially in light of the expressed willingness of the homeowner to keep the offer open for a week. *See id.* § 41.) Therefore, the neighbor's power of acceptance was terminated only if the homeowner revoked the offer before the neighbor accepted it.

In most cases, revocation of an offer occurs when the offeree receives from the offeror a manifestation of intention not to enter into the proposed contract. Here, the neighbor did not receive such a manifestation of intention directly from the homeowner before she tried to accept his offer. Yet some cases have held that revocation may also be communicated to the offeree indirectly, when the offeror takes definite action inconsistent with an intention to enter into the proposed contract and the offeree acquires reliable information to that effect. *Id.* § 43. *See also Dickinson v. Dodds*, 2 Ch.D. 463 (U.K., 1876); *Berryman v. Kmoch*, 559 P.2d 790, 795–96 (1977).

In this case, the homeowner took definite action inconsistent with an intention to sell the lawn mower to the neighbor—namely, he entered into a contract to sell it to the acquaintance. Moreover, the neighbor acquired reliable information that the homeowner did not intend to enter into the proposed contract with the neighbor. Not only did the acquaintance tell the neighbor about the homeowner's contract with the acquaintance, but he also showed her their written agreement. Thus, under this principle of indirect revocation, the homeowner revoked the offer, terminating the neighbor's power of acceptance, before her purported acceptance. As a result, there was no contract.

[NOTE: While the Restatement indicates that indirect revocation is a generally applicable principle (and provides illustrations to that effect), the Reporter's Note to Section 43 notes that existing cases all involved real estate transactions. Accordingly, it could be argued that the homeowner had not revoked his offer before it was accepted by the neighbor and a contract was therefore created by the acceptance.]

REAL PROPERTY ANALYSIS

REAL PROPERTY II.D.; IV.A.1.c.

ANALYSIS

Legal Problems:

- (1) Is the expansion project a nonconforming use?
- (2) Under the provisions of the loan commitment, is the bank obligated to disburse further funds?
- (3) Does the mechanic's lien have priority, in whole or in part, over the bank's mortgage?

DISCUSSION

Summary

The expansion is most likely not a nonconforming use because it results in a substantial change in use that may increase the volume of users at the store's location.

The bank is not obligated to disburse additional funds because the bank and the man entered into a future-advances loan/mortgage arrangement under which future advances depend on the bank's judgment that satisfactory progress is being made on the project.

The bank's mortgage has priority over the mechanic's lien as to the original payment (\$50,000) because the mortgage was recorded and the payment was made before the filing of the mechanic's lien. Under the majority rule, the bank has priority with respect to the first future advance (\$40,000) because, when it was made, the bank did not have *actual* notice that the subcontractor had not been paid; advances made after the bank acquired such knowledge do not have priority over the mechanic's lien. Under the minority rule, the mechanic's lien is senior to all the future advances but not to the original \$50,000 payment because by recording the lien, the subcontractor provided the bank with constructive notice of its interest.

[NOTE: An examinee who wrongly concludes that future advances are obligatory should conclude that the bank has priority with respect to all disbursements made under the loan commitment regardless of when made.]

Point One (35%)

While there are good arguments either way, the expansion to the convenience store is most likely not exempt from the zoning ordinance as a nonconforming use because it would increase the intensity of use.

This zoning ordinance allows uses that existed prior to the enactment of the ordinance. Prior-enactment uses are known as “nonconforming uses” and are justified on both fairness and practical monetary grounds. Here, the convenience store without any expansion is protected by the nonconforming use provision in the ordinance.

While a nonconforming use cannot be extended or intensified in ways that constitute a substantial change, insubstantial changes are permitted, and “owners are entitled to make reasonable alterations to repair their facilities and render them practicable for their purposes.” *See* Joseph W. Singer, *Property* 658 (5th ed. 2017). Thus, the issue here is whether the proposed changes are substantial or insubstantial. Because a change would be inconsistent with the zoning law, “any doubts are resolved against the change.” *Id.*

Likely, the expansion is not a nonconforming use. The expansion of the convenience store clearly will increase the intensity of the use in the newly zoned residential neighborhood. In fact, that is precisely what the man hopes to achieve with the expansion. Increased use will result in more traffic and possibly impose other externalities on the now residential community. While the goal of the nonconforming-use doctrine is to protect prior investment, it is not to change an existing use into a different investment. Furthermore, applying the nonconforming-use doctrine here would only serve to protect a future investment, not a prior investment. When the man bought the store, he had only a mere expectation of future investment (i.e., that he would expand the store to offer products and services similar to those offered by the other convenience stores). A mere expectation is not an investment.

On the other hand, the proposed alteration should arguably be treated as a permissible nonconforming use because it is necessary for the man’s store to compete effectively with the three other stores in the area. Furthermore, other local convenience stores that sell gas have small dining areas within them, and thus the expansion could be viewed as merely a normal expansion of a prior nonconforming use. Additionally, the point of the nonconforming-use doctrine, in part, is to protect the investment-backed expectations of persons, such as the man here, who purchased and operated the store in reliance on the law in place when the property was acquired. This expectation exists here, given that when the man purchased the store there were three more expansive convenience stores in the area, and he had expected that in the future he would expand the store to offer the same products and services as his competitors.

However, notwithstanding the argument in favor of applying the nonconforming-use doctrine to the store’s expansion, given that “any doubts are resolved against the change,” it is more likely that the expansion is *not* a nonconforming use. *Id.*

Point Two (35%)

The bank’s obligation to make advances to the man is optional because future advances are conditioned on the bank’s determination that the borrower is making satisfactory progress on the construction project.

The type of loan/mortgage here is a so-called “future-advances” agreement, and it is very common in the construction industry. A future-advances loan is one in which the lender provides funds to the borrower over a period of time, rather than in a lump sum at the signing of the mortgage, in order to finance ongoing construction when the funds are needed. Future-advances loans are either obligatory or optional. A future-advances loan is obligatory if the lender has a duty to advance the funds; the loan is optional if the lender does not have a duty to advance funds but has discretion whether to make future advances. *See* Grant S. Nelson, Dale A. Whitman, Ann M. Burkhart & R. Wilson Freyermuth, *Real Estate Finance Law* 1095 (6th ed. 2015).

In this case, the bank’s commitment to make future advances is optional. A commitment is obligatory only when the lender commits to making future advances without discretionary conditions. With a satisfactory-progress condition, the bank has no “definite obligation to advance any funds,” making the future advances optional. *Id.* at 1099. The satisfactory-progress condition is designed, among other things, to permit the bank to withhold funds if any difficulties associated with the project’s completion threaten the bank’s security by reducing the growth in value anticipated from the project.

Here, the bank has a right to withhold funds if it concludes in good faith that there is not “satisfactory progress” on the project. The existence of a mechanic’s lien against the project could undermine the bank’s security with respect to future amounts it might disburse if the mechanic’s lien has priority. *See* Point Three. Thus, the bank officer’s concerns could justify withholding funding.

Point Three (30%)

With respect to the \$50,000 payment, the bank’s mortgage has priority as it preceded the filing of the mechanic’s lien. With respect to the \$40,000 payment, under the majority rule, the bank’s mortgage has priority over the mechanic’s lien because the bank did not have actual knowledge that the subcontractor had not been paid when the bank made the payment. Under the minority rule, the bank’s mortgage would not have priority because the lien was properly filed before the bank made this payment.

The general rule is that, if a future advance is obligatory, the mortgage securing that advance takes priority over creditors who file liens after the mortgage is recorded, even if all advances on the loan have not actually been made. Nelson et al., *supra*, at 1095. Because the bank must make the future payments, regardless of circumstances, those payments are deemed to have been made when the mortgage was created. It is as though the loan had been paid in one lump sum at that time.

[NOTE: If an examinee concludes that future advances are obligatory, that examinee should also conclude that the mechanic’s lien is junior to all disbursements made by the bank.]

If the future advances are optional, and if the mortgagee has notice when it makes the advance that a subsequent lienor has acquired an interest in the land, then the advance loses its priority to that creditor. *Id.* at 1095. Here, the bank has priority only to the original \$50,000 advance but not to the \$40,000 advanced after the mechanic's lien was filed, assuming that the bank had notice of it. And, of course, if the bank were to continue to make advances up to the \$200,000 commitment, those additional payments would not have priority. However, this rule applies only if the bank made the advances with "notice" of the lien.

Most states hold that the mortgagee has notice only when it has actual notice of the lien at the time of the future advance. *Id.* at 1102. This rule is based on the view that the mortgagee should not have the burden of a title search each time it makes an advance when it is easier for the subcontractor to inform the mortgagee that its bill has not been paid.

Here, application of this approach would lead to the conclusion that the bank had no notice of the mechanic's lien until it learned that the subcontractor had not been paid when the third advance was sought. Thus, the bank would have priority over the subcontractor with respect to the first two payments (\$50,000 and \$40,000). Of course, should the bank make additional future advances, as to those it would not have priority.

Under the minority view, the bank will be charged with constructive notice of the mechanic's lien if the lien, as here, has been properly recorded. *Id.* Under this view, the assessment of the relative burdens of the mortgagee and the subcontractor are reversed. If the minority view applies, the bank has priority with respect to the original advance of \$50,000 but not to any later advances because it had constructive notice of the mechanic's lien as of the time it was filed.

TRUSTS & FUTURE INTERESTS ANALYSIS

TRUSTS & FUTURE INTERESTS I.; II.A., B.

ANALYSIS

Legal Problems:

- (1)(a) Did the trustee breach the duty of loyalty by renting a trust-owned apartment to himself at a market rate?
- (1)(b) Did the trustee breach the duty of prudent administration (a/k/a duty of care) by failing to purchase fire/casualty insurance on trust property, resulting in a \$50,000 uninsured loss?
- (1)(c) Did the trustee breach the duty to administer in accordance with applicable law by allocating the entire \$50,000 expense occasioned by the unexpected roof repair to trust income?
- (2) Upon Albert's death, should the trust principal be distributed to Betty's husband, Betty's daughter, equally to both of them, or to the testator's heirs?

DISCUSSION

Summary

The trustee breached the fiduciary duty of loyalty when the trustee rented one of the apartments to himself even though it appears that he paid a market rate for the apartment. The trustee breached the duty of prudent administration (a/k/a duty of care) by failing to purchase fire insurance on the trust's real property. The trustee breached the duty to administer in accordance with applicable law by charging the entire uninsured loss to income rather than principal.

Under the common law, upon Albert's death the trust principal would pass to Betty's husband because she had a vested remainder in the trust that passed to him under her will. The testator's son would not share in trust principal because there is no reversion to pass to the testator's heirs.

Point One(a) (25%)

The trustee breached his duty of loyalty when he rented a trust-owned apartment to himself even though he paid a market rate.

A trustee owes trust beneficiaries a duty of loyalty. This duty arises under the common law and by statute. Under the common law, a trustee is prohibited from making transactions that place the interest of the trustee or another above the interest of trust beneficiaries. *See* William M. McGovern, Sheldon F. Kurtz, David M. English & Thomas P. Gallanis, *Wills, Trusts, and Estates* 530 (5th ed. 2017). The duty of loyalty prohibits two types of transactions: self-dealing, where the trustee deals with trust property for the trustee's personal benefit, and conflict of interest, where the trustee acts on "behalf of others to whom the trustee also owes obligations." *Id.* at 531. Here, the trustee's lease of a trust-owned apartment to himself was self-dealing. The lease thus breached the trustee's duty of loyalty.

Because of the so-called “no-further-inquiry” rule, the fact that the trustee paid a market rate is irrelevant to the conclusion that the trustee engaged in self-dealing. *Id.* at 531–532. *See also* Restatement (Third) of Trusts § 78(2) (“the trustee is strictly prohibited from engaging in transactions that involve self-dealing or that otherwise involve or create a conflict between the trustee’s fiduciary duties and personal interests.”). As noted in the Restatement (Third), under the no-further-inquiry rule, “it is immaterial that the trustee may be able to show that the action in question was taken in good faith, that the terms of the transaction were fair, and that no profit resulted to the trustee.” *Id.* cmt. b. This strict approach is justified on the grounds that “it may be difficult for a trustee to resist temptation when personal interests conflict with fiduciary duty. In such situations, for reasons peculiar to typical trust relationships, the policy of the trust law is to prefer (as a matter of default law) to remove altogether the occasions of temptation rather than to monitor fiduciary behavior and attempt to uncover and punish abuses when a trustee has actually succumbed to temptation. This policy of strict prohibition also provides a reasonable circumstantial assurance (except as waived by the settlor or an affected beneficiary) that beneficiaries will not be deprived of a trustee’s disinterested and objective judgment.” *Id.*

The Uniform Trust Code takes a similar approach. It adopts the no-further-inquiry rule and provides that a self-dealing transaction is voidable by trust beneficiaries. *See* UTC § 802(b). As noted in the comments, “transactions involving trust property entered into by a trustee for the trustee’s own personal account [are] voidable without further proof. . . . It is immaterial whether the trustee acts in good faith or pays a fair consideration.” *Id.* at comment.

Point One(b) (25%)

The trustee breached his duty of prudent administration (a/k/a duty of care) when he failed to purchase fire/casualty insurance on the real property.

Both the Restatement of Trusts and the Uniform Trust Code impose on trustees a “duty of prudent administration.” *See* Restatement (Third) of Trusts § 77 (“The trustee has a duty to administer the trust as a prudent person would, in light of the purposes, terms, and other circumstances of the trust”); UTC § 804 (“A trustee shall administer the trust as a prudent person would, by considering the purposes, terms, distributional requirements and other circumstances of the trust.”). Both authorities agree that, to satisfy the duty of prudent administration, a trustee must “exercise reasonable care, skill, and caution.” *See* Restatement (Third) of Trusts § 77(2); UTC § 804.

The Uniform Trust Code further provides that a “trustee shall take reasonable steps to take control of and protect the trust property.” UTC § 809. This section is based upon Restatement (Second) of Trusts § 176. A comment to § 176 of the Restatement specifies that a trustee’s failure to purchase fire/casualty insurance for trust property when such “insurance is customarily taken by a prudent” person is a breach of the duty to protect (a subset of the duty of care/prudent administration). Restatement (Second) of Trusts § 176 at cmt. b, illus. 3. *Accord, Hamilton v. Mercantile Bank of Cedar Rapids*, 621 N.W.2d 401 (Iowa 2001).

Here, the trustee failed to purchase a fire/casualty policy on the trust's rental property, resulting in a loss to the trust. This is a breach of trust because a prudent person would have purchased such a policy on the property.

[NOTE: An accurate analysis of the legal standards is more important than the examinee's conclusion regarding whether the purchase of insurance would have been prudent.]

Point One(c) (30%)

The trustee breached his duty to administer the trust in accordance with applicable law by allocating the \$50,000 repair expense exclusively to income.

A trustee has a duty to administer the trust "diligently and in good faith, in accordance with the terms of the trust and applicable law." Restatement (Third) of Trusts § 76. *Accord*, UTC § 801. Because of the trustee's obligation to comply with applicable law, the trustee must comply with the Uniform Principal and Income Act, or other state statutes of like effect, in allocating receipts and disbursements between trust income and principal.

Under the Uniform Principal and Income Act, "all . . . ordinary expenses incurred in connection with the . . . preservation of trust property . . . including ordinary repairs" are allocated to income. Extraordinary repairs are allocated to principal. Unif. Principal and Income Act § 501 (1997). Ordinary repairs are repairs required by day-to-day wear and tear. Extraordinary repairs are repairs required by "an unusual or unforeseen occurrence that does not destroy the [asset] but merely renders it less suited to its intended use, a repair that is beyond the usual, customary, or regular kind." *See generally Black's Law Dictionary* 267 (2d pocket ed. 2001).

Here, the \$50,000 roof repair was extraordinary because it was required by an unforeseen occurrence, a fire. It should therefore have been allocated to principal, not income, and paid from the trust principal's \$120,000 in liquid assets. This conclusion is bolstered by the fact that, had the trustee obtained insurance on the property, the insurance proceeds, representing the value of needed repairs, would have been allocated to principal. Unif. Principal and Income Act § 404.

[NOTE: The duties discussed in this section are sometimes referred to as an aspect of the duty of impartiality.]

Point Two (20%)

Under the common law, upon Albert's death, the trust principal should be distributed to Betty's husband because she devised her vested remainder in the trust to him.

Under the terms of the trust, the testator created a life estate in Albert and a remainder interest in Betty. Under the common law, Betty's interest was vested because it was subject to no contingencies (such as "to Betty if she survives Albert") that would cause her to lose her interest should she predecease Albert. *See generally* Herbert Hovenkamp, Sheldon F. Kurtz & Thomas P. Gallanis, *The Law of Property, An Introductory Survey* 128 (6th ed. 2014). Vested remainders are devisable. Thus, if the remainderman is not living when the remainder becomes possessory, it passes to the devisee of the interest under the deceased remainderman's will. *Id.* at 127.

Trusts & Future Interests Analysis

Here, trust principal became possessory at Albert's death, and Betty was not living at that time. The trust principal thus should go to the devisee named in Betty's will, her husband. Under the common law, the testator's son would not take a share of trust principal as there is no reversionary interest to pass to the testator's heirs.

[NOTE: If Betty's trust interest were subject to a survivorship contingency, that would have caused Betty's interest to fail because she predeceased Albert. In that case, her interest would have reverted to the testator's estate. In such case, it would have passed to his heirs if he died intestate or to his beneficiaries if he died with a will.]

EVIDENCE ANALYSIS

EVIDENCE II.C.3., D.; III.C.; V.A., B., D., F.

ANALYSIS

Legal Problems:

- (1) Is a mechanic's testimony describing his opinion of the condition of truck brakes that he has inspected admissible evidence?
- (2) Is an invoice for truck brake parts an admissible business record when it was apparently made by a person with knowledge of its contents and retained in the ordinary course of business?
- (3)(a) May a patient assert the physician-patient privilege to bar admission of a physician's trial testimony if the patient has placed her medical condition in issue by filing a personal injury lawsuit?
- (3)(b) Is a patient's out-of-court statement regarding pre-existing pain admissible as a statement by an opposing party when the patient is the plaintiff in a personal injury lawsuit or admissible under the hearsay exception for statements made for the purpose of medical diagnosis or treatment?
- (4) Is the roommate's testimony admissible habit evidence?

DISCUSSION

Summary

The mechanic's proposed testimony that he inspected the woman's truck brakes and that they needed repair is relevant because it has some tendency to make it more probable that a malfunction of the truck's brakes caused the accident. Although the proposed testimony is an opinion, it should be admitted because it would be rationally based on the mechanic's personal perception of the condition of the brakes, and the opinion would be useful to the trier of fact. In the alternative, the mechanic's opinion could be admitted as expert testimony based on his technical skill or expert knowledge, if the opinion is the product of reliable principles and methods and the mechanic reliably applied the principles and methods to the facts of the case.

The invoice from the mechanic's shop stating, "New parts for [the woman's] truck brakes ordered on December 23 and received on January 2," is relevant because it has some tendency to make it more probable that the accident was caused by brake malfunction in the woman's truck. The mechanic's out-of-court statement is hearsay, but it fits the hearsay exception for "business records" because the mechanic, who signed the invoice, was a person with knowledge of the information in the invoice and the facts suggest strongly that the invoice was made and kept in the ordinary course of the mechanic's business.

The doctor's proposed trial testimony that the woman told him "I have suffered from painful arthritis in my neck for the past five years" is also admissible. The statement is relevant because it has some tendency to make it less probable that the woman's neck pain was caused by the accident, but instead by arthritis that predated the accident. By filing this civil lawsuit alleging that the accident caused the onset of neck pain, which placed her medical condition "in issue," the woman thereby waived the physician-patient privilege.

The doctor's testimony repeats an out-of-court statement by the woman. However, because the declarant (the woman) is the plaintiff, it is not hearsay because it is an opposing party's statement when offered by the defendant (the man). In the alternative, it fits the hearsay exception for statements made for the purpose of medical diagnosis or treatment.

Finally, the roommate's testimony ("[The man] is addicted to texting and never puts his phone down. He even texts while driving.") may be admissible as evidence of the man's "habit" of constant texting. This is a close call. The testimony is relevant because it has some tendency to make it more probable that the man was texting at the time of the accident. However, the court must first decide whether constant texting is a habit. Texting is a volitional act and requires conscious effort. Most courts limit the scope of habit evidence to relevant behaviors that are consistent and semi-automatic. Texting may be too volitional to be considered semi-automatic by some courts, but courts that consider the similarity and repetition of behaviors might view evidence of constant texting as habit evidence.

Point One (20%)

The mechanic's testimony about the condition of the brakes is relevant and should be admitted either as lay opinion rationally based on the mechanic's personal perception or as expert opinion because the mechanic possesses the necessary technical knowledge to be qualified as an expert witness.

Evidence is relevant if it has "any tendency to make a fact more probable or less probable than it would be without the evidence." Fed. R. Evid. 401(a). The mechanic's testimony ("I inspected [the woman's] truck a week before the accident. The brakes on the truck were worn and in need of repair. I ordered new parts.") is relevant because it tends to make it more probable that a brake malfunction may have caused the accident.

The mechanic's testimony is admissible opinion evidence. Under Federal Rule of Evidence 701, lay opinion testimony is admissible if it is "(a) rationally based on the witness's perception; (b) helpful to clearly understanding the witness's testimony or to determining a fact in issue; and (c) not based on scientific, technical, or other specialized knowledge within the scope of Rule 702." Fed. R. Evid. 701. Courts typically hold that witnesses with "firsthand knowledge" may "offer lay opinion testimony where they have a reasonable basis—grounded either in experience or specialized knowledge—for arriving at the opinion expressed." *Asplundh Mfg. Div. v. Benton Harbor Engineering*, 57 F.3d 1190 (3d Cir. 1995). Here, the mechanic's opinion is rationally based

on his personal perception and would be helpful to the jury's determination of whether the woman or the man caused the accident. A court could also find that because the mechanic's opinion is based on his personal perception, it is not an expert opinion within the scope of Rule 702.

In the alternative, the mechanic may be qualified as an expert based on his technical skill or specialized knowledge. Under Federal Rule of Evidence 702, the mechanic's expert opinion can be admitted if "(a) the expert's scientific, technical, or other specialized knowledge will help the trier of fact to understand the evidence or to determine a fact in issue; (b) the testimony is based upon sufficient facts or data; (c) the testimony is the product of reliable principles and methods; and (d) the expert has reliably applied the principles and methods to the facts of the case." Fed. R. Evid. 702. Here, a court could find that the mechanic used his technical skills to reliably form the opinion that the woman's truck brakes required repair, making the opinion testimony admissible under Rule 702, but not Rule 701.

Regardless of whether the mechanic's testimony is viewed by the court as lay or expert opinion, it should be admitted.

Point Two (20%)

The receipt from the mechanic's shop is a relevant out-of-court statement that should be admitted because it fits the hearsay exception for business records.

The receipt from the mechanic's shop stating "New parts for [the woman's] truck brakes ordered on December 23 and received on January 2" is relevant because it has some tendency to make it more probable that the woman's truck brakes were, in fact, in need of repair and may have malfunctioned, causing the accident. Fed. R. Evid. 401.

The receipt is hearsay under Federal Rule of Evidence 801 because (1) it is a statement (the mechanic's "written assertion" that new brake parts were ordered); (2) the mechanic made the statement out of court; and (3) the statement will be "offer[ed] in evidence to prove the truth of the matter asserted in the statement." Fed. R. Evid. 801. However, the receipt fits the hearsay exception for "business records." Under Rule 803(6), a business record may be "a record of an act, event [or condition]" made "by someone with knowledge, if kept in the course of a regularly conducted activity of a business, and if making the record was a regular practice of that activity." Fed. R. Evid. 803(6). These facts must be shown by the testimony of the custodian of the record or another qualified witness.

Here, the mechanic was a person with knowledge because he ordered the truck brake parts, as he will testify. The fact that the receipt was written and signed by the mechanic and kept in the mechanic's file cabinet among similar receipts for other customers should establish that the mechanic was the custodian of the receipt and that it was made and kept by the mechanic in the ordinary course of his repair business. But the receipt will be admissible only if these facts are established during examination of the mechanic.

Point Three(a) (15%)

The doctor's proposed testimony is relevant to the cause of the woman's neck pain and would not be protected by the physician-patient privilege because the woman effectively waived the privilege by filing this civil lawsuit, which placed her medical condition "in issue."

The doctor's proposed testimony that the woman said, "I have suffered from painful arthritis in my neck for the past five years," is relevant because it has some tendency to make it less probable that the accident caused the onset of the woman's neck pain. Fed. R. Evid. 401.

Under Rule 501 of the Federal Rules of Evidence, "state law governs privilege regarding a claim or defense for which state law supplies the rule of decision." Fed. R. Evid. 501. The physician-patient privilege, which was not recognized at common law, has been adopted by statute in most jurisdictions. *See* 25 Wright and Graham, *Federal Practice and Procedure* § 5521 (2015). In determining whether to honor the assertion of a privilege, "courts must balance the public interest in nondisclosure against the need of the particular litigant for access to the privileged information, keeping in mind that the burden of persuasion rests on the party seeking to prevent disclosure." *See Stinson v. City of New York*, 304 F.R.D. 432, 435–36 (S.D.N.Y. 2015).

In most jurisdictions, patient communications or disclosures made for the purpose of medical diagnosis or treatment are privileged. *See State v. Ortiz*, 698 P.2d 1301 (Ariz. Ct. App. 1985). However, most jurisdictions currently recognize a range of exceptions intended to prevent the privilege from being used as a shield for fraud. These exceptions apply in any proceeding where the patient relies on a physical condition as an element of his claim or defense. Thus, in many states a patient waives the physician-patient privilege by placing her medical condition "in issue" in a personal injury lawsuit. *See Roosevelt Hotel Ltd. Partnership v. Sweeney*, 394 N.W.2d 353 (Iowa 1986).

The woman should not be able to invoke the physician-patient privilege to bar admission of the doctor's statement. She will be deemed to have waived the privilege by seeking damages for her neck pain, which put the question of the cause of that pain into issue in the lawsuit.

Point Three(b) (20%)

The doctor's proposed testimony would repeat an out-of-court statement by the woman, but the woman's statement is admissible because (1) it is a statement by an opposing party and is therefore not hearsay, or (2) it fits the hearsay exception for statements made for medical diagnosis or treatment.

The doctor's statement, which repeats an out-of-court statement by the woman (that she had suffered from painful arthritis in her neck for the past five years), is admissible for the truth of the matter asserted and is not hearsay. When offered by the defendant (the man), it is an opposing party's statement because the declarant is the plaintiff (the woman). Fed. R. Evid. 801(d)(2).

In the alternative, the woman’s statement, which describes the onset and nature of her neck pain, describes her “medical history” and provides information about her “past or present symptoms or sensations; their inception; or their general cause.” Fed. R. Evid. 803(4). Under these circumstances, the woman’s statement is also admissible under the hearsay exception for statements made for medical diagnosis or treatment. *See id.*

Point Four (25%)

The court may admit testimony by the roommate if it decides that the man’s constant texting is a habit. A court might rule either way.

The roommate’s testimony (“[The man] is addicted to texting and never puts his phone down. He even texts while driving.”) is relevant because it has some tendency to make it more probable that the man was texting at the time of the accident. Fed. R. Evid. 401.

Under Federal Rule of Evidence 406, “evidence of a person’s habit . . . may be admitted to prove that on a particular occasion the person . . . acted in accordance with the habit.” Fed. R. Evid. 406. Typically, under Rule 406, a person’s “habit” is defined as his or her consistent response to a specific situation. The court may admit habit evidence “regardless of whether it is corroborated or whether there was an eyewitness.” *Id.* Testimony involving habit evidence may be given by the person with the habit or by another person, but the person testifying must have personal knowledge.

It is sometimes difficult for courts to distinguish habit evidence from character evidence. The problem is that, depending on the habit described, habit evidence can be similar to evidence of a person’s character or prior acts. The Federal Rules of Evidence generally prohibit the use of evidence of a person’s character “to prove that on a particular occasion the person acted in accordance with the character or trait.” Fed. R. Evid. 404(a). The Rules likewise prohibit evidence of other acts when offered to prove a character trait and action in conformity with that trait. Fed. R. Evid. 404(b). Because “habit” evidence can run afoul of the bans on character evidence and prior bad acts evidence, courts generally limit habit evidence to proof of relevant behaviors that are not just consistent but semi-automatic. *See Weil v. Seltzer*, 873 F.2d 1453, 1460–61 (D.C. Cir. 1989).

Here, it is a close question whether the roommate’s testimony is admissible habit evidence or prohibited character evidence. According to the advisory committee notes to Rule 406, a habit “is the person’s regular practice of meeting a particular kind of situation with a specific type of conduct.” The roommate would testify that texting is the man’s constant and consistent practice. But as noted above, many courts also require that the behavior be semi-automatic in order to be admissible as habit evidence, and texting may be too volitional to be considered a semi- automatic habit.

CORPORATIONS & LLCs ANALYSIS

CORPORATIONS & LLCs I.A.; II.A.

ANALYSIS

Legal Problems:

- (1) When did Solar Inc. come into existence?
- (2)(a) Under the state's business corporation statute, could the woman be personally liable on the contract with the installer that she signed as "President, Solar Inc."?
- (2)(b) Under general partnership law, could the woman be personally liable on the contract with the installer?
- (3) Is the man personally liable to the installer on the employment contract?

DISCUSSION

Summary

Normally, a corporation comes into existence with the filing of articles of incorporation. See Model Business Corporation Act (MBCA) § 2.03(a). Here, the corporation came into existence on December 10 when the corrected, resubmitted articles were filed by the Secretary of State's office.

The liability of participants in a business that has not been properly incorporated can arise under statute or as a matter of partnership law. Under MBCA § 2.04, persons who purport to act on behalf of a corporation prior to incorporation, knowing that there is no incorporation, become personally liable. Here, the woman would not be liable under MBCA § 2.04 because she did not have actual knowledge, at the time of the dealings with the installer, that the corporation had not been incorporated.

Under partnership law, persons who carry on as co-owners a business for profit become liable as partners. Although the woman would appear to be a partner in an unincorporated business, a court applying common law doctrines in cases of defective incorporation is likely to infer corporate limited liability with respect to the contract claim by the installer against the woman.

However, under the "de facto corporation" doctrine, a court is likely to find that the woman is not personally liable to the installer because the woman made a good-faith attempt to incorporate and then entered into the contract in the corporate name. A court could also apply the "corporation by estoppel" doctrine to find that the woman is not personally liable to the installer because the installer dealt solely with the corporation, without relying on the personal assets of the woman.

As for the installer's claim against the man, the man (as an inactive investor in the business) is even less likely to be personally liable. The man did not purport to act on behalf of the

corporation and thus cannot be liable under MBCA § 2.04. In addition, even though the man may have been a partner in the unincorporated business, a court would likely apply the two defective-incorporation doctrines to infer limited liability for the man.

Point One (10%)

The corporation was formed on December 10, when its articles of incorporation were filed by the Secretary of State's office.

Normally, the existence of a corporation begins with the filing of the articles of incorporation. MBCA § 2.03(a) (“Unless a delayed effective date is specified, the corporate existence begins when the articles of incorporation are filed”). The articles were not filed on November 15 when they were received by the Secretary of State because they failed to include the number of authorized shares as required by the statute. Here, the corporation came into existence on December 10 when the corrected, resubmitted articles were filed by the Secretary of State's office.

[NOTE: An examinee might point out that sometimes filings can be corrected, with the corrections effective as of the date of the original filing. See MBCA § 1.24(a) (permitting a corporation to file “articles of correction,” which become effective as of the date of the document they correct, provided that the corrections are limited to inaccuracies, defective signatures, and defects in electronic transmission). Here, however, the Secretary of State's office did not accept the original articles for filing, and there was no “filed document” to correct.]

Point Two(a) (25%)

The woman would not be personally liable under MBCA § 2.04 because when she entered into the contract on behalf of the corporation, she did not know that the business had not been properly incorporated.

Under the MBCA, “persons purporting to act as or on behalf of a corporation, knowing there was no incorporation . . . , are jointly and severally liable for all liabilities created while so acting.” MBCA § 2.04. The Official Comment clarifies that an “erroneous but in good faith” belief that incorporation has happened does not constitute knowledge under the section. Official Comment, MBCA § 2.04 (adopting approach of Revised Uniform Limited Partnership Act).

Here, the woman is likely not liable for “purporting to act . . . on behalf” of a non-existent corporation under MBCA § 2.04. There is no indication that she actually knew that the original articles had not been filed by the Secretary of State when she entered into the employment contract with the installer in the corporate name. Although the woman could have checked with the Secretary of State's office to ascertain whether the business had been incorporated or possibly should have known that the articles were incomplete, her lack of actual knowledge of the incorporation defect precludes her liability under MBCA § 2.04.

Point Two(b) (40%)

The woman is unlikely to be held personally liable as a partner in an unincorporated business because a court is likely to infer corporate limited liability under the “de facto corporation” or the “corporation by estoppel” doctrine.

Generally, co-owners of a for-profit business that has not been properly incorporated are treated as partners in a partnership and are jointly and severally responsible for all business obligations. *See* Revised Uniform Partnership Act § 101(6) (defining “partnership” as “an association of two or more persons to carry on as co-owners a business for profit”); § 306(a) (specifying that “all partners are liable jointly and severally for all obligations of the partnership”); *cf.* Uniform Partnership Act § 15 (joint and several liability for torts, and joint liability for other obligations). Here, however, although the woman was a co-owner in a business for profit and thus a partner, a court would likely limit her liability because of the “de facto corporation” and “corporation by estoppel” doctrines.

Under the common law, courts have inferred corporate limited liability in cases of defective incorporation in two situations. First, under the “de facto corporation” doctrine, courts recognize corporate limited liability when there was (1) a colorable, good-faith attempt to incorporate and (2) actual use of the corporate form, such as by carrying on the business as a corporation or contracting in the corporate name. *See Business Organizations with Tax Planning* § 63.01; 1A *Fletcher Cyc. Corp.* § 215.

Second, under the “incorporation by estoppel” doctrine, most jurisdictions recognize corporate limited liability when a third party deals solely with the “corporation” and has not relied on the personal assets of the promoter. *See* Official Comment, MBCA § 2.04 (Example 4) (identifying situations where promoter represents that a corporation exists and enters into a contract in the corporate name, even though the promoter might know that no corporation has been formed). In these cases, courts have rejected the imposition of personal liability on equity grounds because the third party would otherwise receive more than originally bargained for.

Here, a court is likely to apply one or both of the common law doctrines to infer corporate limited liability in the installer’s contract claim against the woman. Under the “de facto corporation” doctrine, the woman’s mailing of the articles of incorporation to the Secretary of State constituted a colorable, good-faith attempt to incorporate. If the submitted articles had included the number of authorized shares, this would have led to a validly formed corporation. *See* MBCA § 2.03(a). In addition, the woman used the corporate form by entering into the employment contract in the corporation’s name. She did this in good faith, apparently believing that the incorporation steps had been completed. There is no indication that the woman was aware that the articles of incorporation had been rejected.

In addition, under the “corporation by estoppel” doctrine, the installer’s entry into the employment contract, which the woman signed as president of Solar Inc., is evidence that the installer understood that he was dealing solely with the “corporation” and was not relying on the personal assets of the woman. To allow the installer to hold the woman personally liable would create a liability that had not been bargained for. That is, the installer assumed the risk that the corporation (as happened) would not be able to fulfill the contract.

[NOTE: Some examinees might seek to analyze the woman’s liability under the “promoter liability” rules that apply to contracts with a corporation that has not yet come into existence. *See* Restatement (Second) of Agency § 326 (1958) (“Unless otherwise agreed, a person who, in dealing with another, purports to act as agent for a principal whom both know to be nonexistent or wholly incompetent, becomes a party to such contract.”) These rules, however, arise when both the promoter and the third party are aware that no incorporation has happened, though it may happen later. Thus, the “promoter liability” rules are inapplicable to the situation presented in this question given that there is nothing to suggest that the woman and the installer understood that the corporation had not yet been formed.]

Point Three (25%)

The man, as an inactive investor in the business, is not personally liable on the employment contract with the installer either under MBCA § 2.04 or as a partner in the unincorporated business.

Applying the defective-incorporation principles to the contract claim against the man, the man would not be liable under MBCA § 2.04 as he did not sign the contract with the installer and thus did not purport to act on behalf of the non-existent corporation. *See* Point Two(a).

In addition, even though the man as a co-owner in a business for profit may have been a partner in the unincorporated business, a court would likely infer corporate limited liability for the man under the “de facto corporation” and “corporation by estoppel” doctrines for the same reasons that limited liability is available to the woman. *See* Point Two(b). Generally, the “de facto corporation” and “corporation by estoppel” doctrines are available to all participants of the business, including those who are inactive. *See* 18A Am. Jur. 2d, Corporations § 196 (both active and inactive participants of a “de facto corporation” have the same rights and are entitled to the same protections). Similarly, the Official Comment to MBCA § 2.04, in reviewing the approach by courts in defective-incorporation cases, points out that inactive participants are generally not liable on pre-incorporation contracts. *See* Official Comment, MBCA § 2.04 (Example 5) (noting distinction between active and inactive participants in the case law, and stating that statutory liability extends only to active participants who purport to act on behalf of the corporation and “therefore relieves the latter of personal liability”). Therefore, the man here would not be personally liable on the installer’s contract claim.

February 2019
MEE Questions
and Analyses

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the February 2019 MEE. (In the actual test, the questions are simply numbered rather than being identified by area of law.) The instructions for the test appear on page iii.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, identified by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Civil Procedure question on the February 2019 MEE tested the following areas from the Civil Procedure outline: I.A. Jurisdiction and venue—Federal subject matter jurisdiction (federal question, diversity, supplemental, and removal); and B. Personal jurisdiction.

For more information about the MEE, including subject matter outlines, visit the NCBE website at www.ncbex.org.

Description of the MEE

The MEE consists of six 30-minute questions and is a component of the Uniform Bar Examination (UBE). It is administered by user jurisdictions as part of the bar examination on the Tuesday before the last Wednesday in February and July of each year. Areas of law that may be covered on the MEE include the following: Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Civil Procedure, Conflict of Laws, Constitutional Law, Contracts (including Article 2 [Sales] of the Uniform Commercial Code), Criminal Law and Procedure, Evidence, Family Law, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Article 9 (Secured Transactions) of the Uniform Commercial Code. Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusions. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Examinees testing in UBE jurisdictions must answer questions according to generally accepted fundamental legal principles. Examinees in non-UBE jurisdictions should answer according to generally accepted fundamental legal principles unless your testing jurisdiction has instructed you to answer according to local case or statutory law.

February 2019 MEE Questions

Torts

Secured Transactions

Agency & Partnership

Civil Procedure

Trusts & Future Interests

Criminal Law & Procedure

TORTS QUESTION

One year ago, a man was injured when the car in which he and a woman were traveling slid off an icy highway during a winter storm and overturned. At the time of the accident, the woman was driving the car. The man was sitting in the front passenger seat, wearing his seat belt. The woman was driving 40 mph at the time of the accident, although the posted speed limit was 50 mph.

The man and the woman were rushed to a local hospital in its ambulance. There, hospital surgeons performed emergency surgery on the man. The man remained in the hospital for 10 days following his admission. Numerous medical instruments were used during his surgery and subsequent hospitalization, including needles, clamps, and surgical tools. However, he did not receive a blood transfusion or any blood products.

Three days after the man was released from the hospital, he developed a fever and visited his personal physician, who is not affiliated with the hospital. The physician ordered routine blood tests. The tests revealed that the man had a serious infection that is transmitted in nearly all cases through exposure to either contaminated blood products or improperly sterilized medical instruments (needles, clamps, surgical tools, etc.) that come into contact with a patient's blood. There are, however, other possible sources of the infection in a hospital environment, such as a failure of staff to follow proper handwashing techniques to avoid transmitting infection from one patient to another and staff failure to properly identify and discard certain used medical instruments that cannot safely be sterilized.

Infections occurring in individuals who have not received a blood product and have not been hospitalized during the period of likely exposure are possible but rare. The physician told the man that he "must have contracted this infection at the hospital" because the period between infection and symptom development is 10 to 13 days and the man was a patient at the hospital during the entire relevant period. The physician also stated that "at hospitals that have adopted medical-instrument sterilization procedures recommended by experts, cases of this infection have been almost completely eliminated." The man has no history of intravenous drug use, and he did not receive any medical treatment for several months before his hospital stay. All sterilization procedures at the hospital are performed by hospital employees. However, the particular sterilization procedure used while the man was hospitalized cannot be determined because, while the hospital now uses the sterilization procedure recommended by experts, there is no record of when it started using that procedure.

The man has sued the woman and the hospital, alleging negligence. Neither defendant is judgment-proof, and this jurisdiction has no automobile-guest statute. The parties have stipulated that the man's damages for the injuries he suffered in the accident are \$100,000 and his damages from the infection he contracted are \$250,000.

1. Could a court properly find that the woman was negligent even though she was driving below the posted speed limit? Explain.
2. Could a court properly find that the woman is liable for the man's damages resulting from the infection? Explain.

Torts Question

3. Could a court properly find that the hospital is liable for the man's damages resulting from the infection? Explain.
4. If a court found that both the woman's negligence and the hospital's negligence caused the man's infection, could the woman's liability be limited to \$100,000 for injuries the man suffered in the accident? Explain.

SECURED TRANSACTIONS QUESTION

A company is in the business of manufacturing and selling stereo equipment. Several months ago, the company borrowed money from a bank, to be repaid by the company in monthly installments. The loan agreement, which was signed by the company's owner, provided that, to secure the company's obligation to repay the loan, the company granted the bank a security interest in "all personal property" owned by the company. Also that day, under an oral agreement with the company's owner (who had full authority to speak on behalf of the company), the bank took possession of one of the most valuable items of the company's property—an original Edison gramophone that the company had acquired because it was the earliest precursor of the company's digital music players—as part of the collateral for the loan. The bank properly filed a financing statement in the appropriate filing office, listing the company as debtor and, in the space for the indication of collateral, listing only "all personal property."

Since borrowing the money, the company has run into various financial troubles. It has missed some loan payments to the bank and recently lost a lawsuit, resulting in a large judgment against the company. Last month, the judgment creditor obtained a judicial lien on the gramophone.

Last week, the bank notified the company that it was in default under the loan agreement. Without giving advance notice to the company, the bank sold the gramophone to an antiques collector in a commercially reasonable manner. The judgment creditor has learned about the sale of the gramophone and asserts that he had a superior claim to it.

The sale of the gramophone did not generate enough money to satisfy the company's obligation to the bank. The bank would like to seize some of the company's other property in which the bank has an enforceable security interest.

1. Does the company have any claim against the bank with respect to the sale of the gramophone? Explain.
2. As between the bank and the judgment creditor, who had a superior claim to the gramophone? Explain.
3. Does the bank have an enforceable security interest in any personal property of the company other than the gramophone? Explain.

AGENCY & PARTNERSHIP QUESTION

Five years ago, three radiologists—Carol, Jean, and Pat—opened a radiology practice together. They agreed to call their business “Radiology Services,” to split the profits equally, and to run the practice together in a manner that would be competitive. Toward that end, they purchased state-of-the-art radiology imaging equipment comparable to that of other radiology practices in the community.

Shortly after opening the practice, Carol, Jean, and Pat retained an attorney to organize the practice as a limited liability company. The attorney prepared all the necessary documents and forwarded the documents to Carol, Jean, and Pat for signature. However, they were so involved in their radiology practice that they forgot to sign the documents, and they have never done so.

Four months ago, Carol suggested to Jean and Pat that the practice replace some of the imaging equipment. Jean was worried about overspending on imaging equipment, but she did not express her concern to Carol and Pat.

Three months ago, Carol, without discussing the matter further with either Jean or Pat or obtaining their consent, purchased for the practice a \$400,000 state-of-the-art imaging machine like those recently acquired by other radiology practices in the community.

After the purchase but prior to delivery, Jean learned what Carol had done and was furious. Jean did not believe the practice could afford such an expensive machine. When Jean confronted Carol, Carol said, “Too bad, it’s a done deal—get over it.” At that, Jean responded, “That’s it. I’ve had enough. This machine was purchased without my consent. It’s a terrible idea. I’m out of here and never coming back. Just give me my share of the value of the practice.” Carol responded, “Fine with me.” Carol and Pat subsequently agreed to continue their participation in Radiology Services without Jean.

Radiology Services is in a jurisdiction that has adopted both the Revised Uniform Partnership Act (1997, as amended) and the Uniform Limited Liability Company Act (2006, as amended).

1. What type of business entity is Radiology Services? Explain.
2. Did Carol have the authority to purchase the imaging machine without the consent of Jean and Pat? Explain.
3. Did Jean’s statements to Carol constitute a withdrawal from Radiology Services? Explain.
4. Were Jean’s statements sufficient to entitle her to receive a buyout payment from Radiology Services for her interest in the practice? Explain.

CIVIL PROCEDURE QUESTION

An airline is incorporated in State A, where its corporate headquarters are located. The facility where it receives and processes online and telephone reservation requests is located in State B. It employs 150 people at that facility. The airline's base of physical operations, including its transport hub and major maintenance facility, is in State C, where more than 12,000 of its 15,000 employees are located. The airline serves States A and C but not State B.

In August, a woman who lived in State C called the reservation center in State B to obtain a round-trip ticket for the woman to fly between State C and State A in early September.

In early September, the woman used the ticket to fly to State A. The purpose of her trip was to hunt for an apartment in State A, where she was planning to start working at a new job that was set to begin in December. The woman found an apartment and signed an agreement to rent the apartment for one year, starting on December 1.

On the woman's return flight from State A to State C, a mechanical failure forced the plane to make an emergency landing in State A. The woman suffered serious and permanent injuries during the emergency landing and was hospitalized for three weeks in State A. Upon leaving the hospital, she returned to her home in State C. Because of the injuries she suffered, the woman has been unable to work, and she has received an indefinite deferral of the starting date for her job in State A. She continues to live in State C, where she has lived her entire life, although she hopes one day soon to move to the apartment in State A and begin working at her new job.

The woman has retained an attorney, who recommended filing a personal injury claim against the airline in State B because of the larger awards that State B juries tend to give in such cases. Accordingly, the woman sued the airline in federal court in State B, making a state-law tort claim for damages in excess of \$1 million for the injuries she suffered during the plane's emergency landing.

The airline promptly filed a motion to dismiss for lack of subject-matter and personal jurisdiction.

State B's long-arm statute allows its courts to exercise personal jurisdiction to "the maximum extent allowed by the Fourteenth Amendment of the United States Constitution."

How should the federal district court rule on the motion to dismiss? Explain.

TRUSTS & FUTURE INTERESTS QUESTION

Eight years ago, a settlor created a \$300,000 irrevocable trust. The settlor's brother is the sole trustee of the trust. The trust's primary beneficiaries are the settlor's son and daughter. The trust instrument provides, in relevant part:

During the term of this trust, the trustee shall pay to and between my two children so much, if any, of trust income and principal as he deems advisable, in his sole discretion, for each child's support. Upon the death of the survivor of my children, the trustee shall distribute any remaining undistributed trust principal and income equally among my surviving grandchildren.

The trust contains a spendthrift clause that prohibits the voluntary assignment of a beneficiary's interest and does not allow a beneficiary's creditors to reach that interest.

Two months after creating the trust, the settlor died. Both the settlor's son, now age 35, and the settlor's daughter, now age 32, survived the settlor and are still alive. The settlor's son has three living children, now 9, 11, and 14 years of age. These children currently live with their mother, from whom the settlor's son was divorced seven years ago. The settlor's daughter is unmarried and has no children. Both the son (employed as a waiter) and the daughter (employed as a bookkeeper) have earned, on average, less than \$35,000 per year during the past seven years.

Over the past eight years, the son has incurred and has not paid the following debts:

- (a) \$10,000 to a hospital for the son's emergency-room care
- (b) \$35,000 to his former wife in unpaid, judicially ordered child support
- (c) \$5,000 to a friend for repayment of a loan, five years ago, to purchase a high-end computer-gaming system for recreational use

Repayment of the debt to the friend was due last year, but the son defaulted on the loan.

During the first year of the trust, the trustee distributed \$9,000 of trust income to each of the settlor's two children for their support. Thereafter, relations between the settlor's son and the trustee deteriorated. After the son and his wife divorced, the trustee frequently told others, behind the son's back and without any direct basis, that the son was an "adulterer" and a "terrible father." The trustee often referred to the son as a "bum," and he told the settlor's daughter, without any explanation, "Your brother is rude to me."

Over the last seven years, although the son's and daughter's financial needs were similar, the trustee has distributed \$80,000 from trust income and principal to the settlor's daughter and nothing to the settlor's son, despite the son's repeated requests for trust distributions to help him pay his hospital bill, child support, and loan.

1. Given the terms of the trust the settlor created, could the trustee have properly distributed trust assets to the son to enable him to pay (a) his hospital bill, (b) child support, and (c) the loan to purchase the computer-gaming system? Explain.

2. Did the trustee abuse his discretion in refusing to make any distributions to the son during the past seven years? Explain.
3. In light of both the discretion granted the trustee and the spendthrift clause in the trust, may the son's three creditors obtain orders requiring the trustee to pay their claims against the son from trust assets? Explain.

CRIMINAL LAW & PROCEDURE QUESTION

One evening, Ben received a visit from his neighbor. Hanging on Ben's living room wall was a painting by a famous artist. "I love that artist," the neighbor said. "I've collected several of her paintings." Ben remarked that the famous artist was his ex-wife's mother and that whenever his new girlfriend visited, the fact that the painting still hung in his house made her jealous. The neighbor said, "I have a solution. Why don't you give the painting to me for safekeeping? I have an unsigned print by the same artist that you can hang in its place. The print is not in the artist's usual style, so your girlfriend will not get jealous and your living room will still have great art."

Ben thought this was a good idea. He and his neighbor carried the painting to the neighbor's house and hung it in the neighbor's dining room. Ben then took the neighbor's unsigned print home and hung it in his living room.

The next day, Ben decided that he really didn't like the print, and he took it off the wall. Then, around 10:00 p.m., he decided to retrieve the painting from his neighbor.

Ben went to his neighbor's house and knocked on the door, but there was no answer. Just as he was about to leave, he noticed that a ground-floor window was ajar. Ben pushed the window fully open and began to climb into the house to retrieve the painting. The neighbor, who had been asleep upstairs, was awakened by the noise and ran downstairs to find Ben halfway through the window. The neighbor became enraged. Ben tried to explain, but the neighbor would not stop yelling. Ben decided that it would be better to return to his home and retrieve the painting later, after the neighbor had a chance to cool off. But the neighbor followed him outside and across the lawn, yelling, "How dare you sneak into my house!" The yelling attracted the attention of a police officer who was passing in her patrol car. The officer stopped to investigate, and Ben was arrested, questioned, and released.

Two days later, the neighbor returned the painting to Ben, saying "Here's your painting. Give me back the print that I loaned you and we'll forget the whole thing." However, the previous day Ben had been so angry with the neighbor about his arrest that he had contacted an art dealer and had sold her the print. Ben did not tell the art dealer that the unsigned print was by the famous artist. Ben simply offered to sell the print at a very low price and told the art dealer, "I can sell this print to you at such a good price only because I shouldn't have it at all." Although the art dealer often investigated the ownership history of her purchases, she bought the print without further discussion. An hour after the sale, the art dealer contacted a foreign art collector famously uninterested in exploring the ownership history of his acquisitions, and sold him the print for 10 times what she had paid for it.

The prosecutor is considering bringing the following charges: (i) a charge of burglary against Ben in connection with the incident at the neighbor's house, (ii) a charge of larceny or embezzlement against Ben for his actions involving the unsigned print, and (iii) a charge of receiving stolen property against the art dealer for her actions involving the print.

The jurisdiction where these events occurred has a criminal code that defines burglary, larceny, embezzlement, and receiving stolen property in a manner consistent with traditional definitions of these crimes.

With what crimes listed above, if any, should Ben and the art dealer be charged? Explain.

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Agency & Partnership

Civil Procedure

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Criminal Law & Procedure

TORTS ANALYSIS

TOR (II.B.2., C., D.2., D.3.)

ANALYSIS

Legal Problems:

- (1) Could a court properly find that the woman was negligent even though she was driving below the speed limit?
- (2) Could a court properly find that the woman is liable for the man's damages resulting from the infection?
- (3) Could a court properly find that the hospital is liable for the man's damages resulting from the infection?
- (4) If a court found that both the woman's negligence and the hospital's negligence caused the man's infection, could the woman's liability be limited to \$100,000 for injuries the man suffered in the accident?

DISCUSSION

Summary

A court could properly find that the woman was negligent despite the fact that she was driving at a speed lower than the posted limit if it concludes that her conduct was unreasonable under the circumstances. Given the icy road conditions, a court could find that her conduct was unreasonable.

Because exposure to either negligent or non-negligent medical treatment is a foreseeable risk of negligent driving, the woman could be found liable for the damages arising from the infection if the court concludes that the man contracted the infection through the hospital's conduct.

Although the man cannot show when or how he contracted the infection, under the doctrine of *res ipsa loquitur* the man could recover damages from the hospital if he can show that the harm he suffered (the infection) does not normally occur without negligence and that other responsible causes, including his own conduct and that of third persons, are sufficiently eliminated by the evidence. Here, the evidence shows that the man was in the hospital during the entire period in which he contracted the infection, that he had no other known means of exposure, and that the risk of infection can be almost eliminated through the hospital's use of recommended infection-control procedures. A court thus could properly rely on the *res ipsa loquitur* doctrine to find the hospital liable.

If the court found that the negligence of both the woman and the hospital caused the infection, the woman's liability must be greater than \$100,000. Because the woman's negligence alone caused the car accident, she alone would be liable for the \$100,000 damages for the injuries the man suffered in the accident. In addition, in joint and several liability jurisdictions, she and the

hospital together would be liable for the full amount of damages from the man's infection. Thus, her total damages for both the accident and the infection would not be limited to \$100,000.

Point One (20%)

Because compliance with a statutory standard does not insulate an actor against liability for negligence, the woman could properly be found liable to the man despite the fact that she was driving below the posted speed limit.

Statutory standards typically establish the level of care necessary to avoid a finding of negligence. Thus, "an actor is negligent if, without excuse, the actor violates a statute that is designed to protect against the type of accident the actor's conduct causes, and if the accident victim is within the class of persons the statute is designed to protect." Restatement (Third) of Torts: Liability for Physical and Emotional Harm § 14. However, an actor is negligent when he or she "does not exercise reasonable care under *all* the circumstances." *Id.* at § 3 (emphasis added). Speed limits are established for normal driving conditions, not hazardous conditions caused by poor weather. Given that the accident in which the man was injured occurred on an icy road during a winter storm, a court could find that the woman was negligent even though she was driving at a speed lower than the posted speed limit. Compliance with a statute does not establish freedom from fault. *See id.* § 16.

Point Two (20%)

Because contracting the serious infection was within the scope of the risk of negligent driving, the court could find that the woman's negligence was the proximate cause of the man's injuries sustained as a result of contracting the infection.

An actor is liable for those harms that are a foreseeable consequence of his negligence.

Courts have routinely found that subsequent medical malpractice is within the scope of the risk created by a tort defendant. "If the negligent actor is liable for another's bodily injury, he is also subject to liability for any additional bodily harm resulting from normal efforts of third persons in rendering aid which the other's injury reasonably requires, irrespective of whether such acts are done in a proper or a negligent manner." Restatement (Second) of Torts § 457. Liability typically attaches even when the medical services rendered "cause harm which is entirely different from that which the other had previously sustained . . . so long as the mistake or negligence is of the sort which is recognized as one of the risks which is inherent in the human fallibility of those who render such services." *Id.* at cmt. a.

Thus, because it is foreseeable that an injured person will require hospitalization and that hospitalization will expose the injured person to other infections, the woman could be found liable for the man's damages associated with contracting the infection so long as the trier of fact concludes that the hospital is responsible, whether negligent or not, for the man's contracting the infection.

Point Three (40%)

Although the man cannot directly prove that he contracted the infection in the hospital or from a specific action by the hospital or its employees that was negligent, the hospital could be found liable under the doctrine of res ipsa loquitur because the man can show that (1) contracting the infection does not normally happen without negligence, and (2) other responsible causes are sufficiently eliminated by the evidence.

Typically, the tort plaintiff bears the burden of proof to establish the specific actions of the defendant or its employees (acting within the scope of their employment) that were negligent and caused his harm. Here, the plaintiff has no direct proof of the actions of the hospital or its employees that were negligent and that caused the infection from which he is suffering.

However, the doctrine of res ipsa loquitur permits the trier of fact to infer that the harm suffered by the plaintiff was caused by negligence of the defendant when

- (a) the event is of a kind which ordinarily does not occur in the absence of negligence;
- (b) other responsible causes, including the conduct of the plaintiff and third persons, are sufficiently eliminated by the evidence; and
- (c) the indicated negligence is within the scope of the defendant's duty to the plaintiff.

Restatement (Second) of Torts § 328D.

Res ipsa loquitur is commonly used in actions against medical providers when the patient suffers an unexplained injury and the evidence establishes that the risk of such an injury can be largely eliminated when reasonable care is used. If, for example, the “evidence shows that a particular adverse result of surgery is totally preventable when surgeons exercise reasonable and customary care, then res ipsa is appropriate in the patient's suit against the surgeon.” Restatement (Third) of Torts: Liability for Physical and Emotional Harm § 17 cmt. e; *Kambat v. St. Francis Hospital*, 678 N.E.2d 456 (N.Y. 1997).

The man should be able to show that contracting the infection is an event that normally does not occur in the absence of negligence. A plaintiff need not show that reasonable care would completely eliminate the risk, only that it “ordinarily does not occur in the absence of negligence.” Restatement (Second) of Torts § 328D.

The man should also be able to show that the very likely cause of the infection is one of three possibilities: (1) improperly sterilized instruments, (2) failure of employees to follow proper handwashing techniques, or (3) reuse of medical instruments that cannot be properly sterilized. Any of these possibilities would constitute hospital negligence. Another cause that could suggest either hospital negligence or negligence by a third-party supplier is the use of contaminated blood, but that cause is eliminated by the facts. The possible causes that do not suggest hospital negligence are “rare possibilities” that occur outside the hospital setting. These possible causes

Torts Analysis

are eliminated because the man was hospitalized during the entire period of potential exposure. Thus, even though the specific cause of the infection cannot be proven, it appears that there is a very strong inference that the hospital's negligence caused the infection.

Lastly, here the hospital clearly had a duty to the man to protect him against contracting infections while hospitalized. Thus, the indicated negligence—failing to protect the man from contracting the infection—was within the scope of the hospital's duty to the man.

Based on this evidence, the court could use the *res ipsa loquitur* doctrine to find that the hospital is liable for the man's infection.

[NOTE: This answer sets out the *res ipsa loquitur* requirements from the Restatement (Second) of Torts. Jurisdictions differ as to exactly how they express the requirements of the *res ipsa loquitur* doctrine. One traditional variation requires that the plaintiff show three things: “(1) the accident which produced a person's injury was one which ordinarily does not happen unless someone was negligent, (2) the instrumentality or agent which caused the accident was under the exclusive control of the defendant, and (3) the circumstances indicated that the untoward event was not caused or contributed to by any act or neglect on the part of the injured person.” *See, e.g., Eaton v. Eaton*, 575 A.2d 858, 863 (N.J. 1990). The Third Restatement offers another formulation: that negligence can be inferred when the accident causing harm is of a type that “ordinarily happens as a result of the negligence of a class of actors of which the defendant is the relevant member.” Restatement (Third) of Torts: Liability for Physical and Emotional Harm § 17.

Answers relying on any of these variations should be given full credit as long as the examinee recognizes that courts interpret that variation, regardless of the specific way it sets out its requirements, “to limit the application of the *res ipsa loquitur* doctrine to those situations in which the defendant's negligence was more probably than not the cause of the plaintiff's injuries.” *Giles v. City of New Haven*, 636 A.2d 1335 (Conn. 1994); *see also* Dan B. Dobbs et al., Torts and Compensation 190 (7th ed. 2013) (“We should expect variation in local verbalization of the rules, but always remember that a different verbalization may be intended to express substantially the same ideas.”)]

[NOTE: An examinee might note that statutes in some jurisdictions restrict the use of *res ipsa loquitur* in medical malpractice cases. No such statute appears here, and an examinee should not receive credit for assuming such and answering accordingly. *See* Prosser, Wade, and Schwartz's Torts Cases and Materials 259 (13th ed. 2015).]

Point Four (20%)

A finding that the woman's negligence caused the car accident would mean that the woman is solely responsible for the \$100,000 damages from the accident and is liable for that amount. She and the hospital together will be jointly and severally liable for the \$250,000 in damages from the man's infection. Thus, the man can collect any portion, or all, of the \$250,000 damages from the woman. Therefore, the woman's liability for both injuries cannot be limited to \$100,000.

If the woman negligently caused the auto accident, she would be the sole proximate cause of the accident and would be liable for the \$100,000 stipulated damages. She alone bears responsibility for those damages.

If the negligence of the woman and the hospital both caused the man's infection, the woman and the hospital would be jointly and severally liable for the \$250,000 stipulated infection damages. Joint and several liability would be imposed for the infection damages because both the woman and the hospital have caused an indivisible injury, one of the bases of joint and several liability. Each of them is liable for the full amount of the man's damages from the infection.

Thus, because the woman is solely liable for the \$100,000 of damages just from the accident and is jointly and severally liable for the foreseeable infection damages, her liability cannot be limited to \$100,000.

[NOTE: The man has no obligation or need to ask the court to apportion the infection damages. He can approach either tortfeasor, or both tortfeasors, and seek total infection damages of \$250,000 or a lesser amount. The man has the choice of how to apportion collection efforts between the two. The fourth call asks only whether the woman's liability could be limited to \$100,000. Clearly the answer is "no" because she is liable for \$250,000 as a joint tortfeasor in addition to liability for \$100,000 damages from the accident. The examinee is not asked to specify how the plaintiff would apportion collection efforts between the two joint tortfeasors.

The MEE Subject Matter Outline notes that all torts questions occur in a jurisdiction that has joint and several liability with pure comparative negligence.]

SECURED TRANSACTIONS ANALYSIS

SEC (II.D., E., F.; III.B.; IV.A., B.; V.A.2., B.)

ANALYSIS

Legal Problems:

- (1) May a secured party dispose of collateral after the debtor's default without first notifying the debtor?
- (2) Whose rights are superior as between the rights of a secured party having possession of an item of collateral and a person who has a judicial lien on the same item?
- (3) Does a security agreement describing collateral as "all personal property" create an enforceable security interest in a debtor's property?

DISCUSSION

Summary

The company has a claim against the bank with respect to the sale of the gramophone because the bank did not provide the company with advance notification of the bank's intent to dispose of the gramophone. The bank's security interest in the gramophone is superior to the judicial lien of the judgment creditor because the bank's security interest was perfected before the lien was created. The bank does not have an enforceable security interest in other property of the company because the language in the security agreement is insufficient and thus the bank's security interest is not enforceable or attached.

Point One (20%)

The company has a claim against the bank with respect to the sale of the gramophone because the bank did not send the company a notification of disposition before the sale.

After default by the debtor, a secured party may dispose of the collateral. UCC § 9-610(a). If it does so, the proceeds of that disposition will be applied first to the expenses of that process and then to the satisfaction of the debtor's obligation to the secured party. UCC § 9-615(a). Before disposing of the collateral, however, the secured party must send the debtor a "reasonable authenticated notification of disposition." UCC § 9-611(b). The only exception to this notification requirement is if the collateral is perishable or threatens to decline speedily in value or is of a type customarily sold on a recognized market. UCC § 9-611(d). There is no indication that the gramophone in this problem fits into any of those categories. Therefore, because the bank sent no notification to the company before the disposition, the disposition was improper. This breach of the bank's obligation may expose the bank to liability to the company for damages (*see* UCC § 9-625(b)) or lessen the amount of any deficiency recoverable by the bank after application of the proceeds of sale to the company's obligation. *See* UCC § 9-626.

[NOTE: An examinee might mention that a private sale of collateral, such as occurred here, is permissible if commercially reasonable. This is true. UCC § 9-610(b). But this does not obviate the requirements with respect to pre-disposition notification.]

Point Two (40%)

The bank's security interest in the gramophone is superior to the judgment creditor's lien because the bank's security interest was perfected before the judgment creditor obtained his lien.

Except as otherwise provided in the UCC, a security agreement is effective against creditors. UCC § 9-201(a). UCC § 9-317 provides such an exception, however. That section indicates that a security interest is subordinate to the rights of a person who became a lien creditor before the security interest was perfected. UCC § 9-317(a)(2)(A). Here, the judgment creditor is a lien creditor under § 9-102(a)(52)(A) because of his judicial lien. Thus, the bank's security interest in the gramophone will be subordinate to the rights of the judgment creditor only if the bank's security interest was not perfected when the judgment creditor became a lien creditor.

A security interest is not perfected unless it has "attached." UCC § 9-308(a). A security interest attaches when it becomes enforceable unless the time of attachment has been postponed by agreement. UCC § 9-203(a). Thus, the bank's security interest in the gramophone cannot be perfected unless it is enforceable. A security interest is enforceable if the three criteria in UCC § 9-203(b) have been satisfied. The first two criteria are clearly satisfied: "value" has been given (because the loan was made) and the debtor (the company) had rights in the gramophone (the company owned it). *See* UCC §§ 9-203(b)(1)–(2) and 1-204. The third criterion can be satisfied in several ways. Here, it is satisfied because the requirements of UCC § 9-203(b)(3)(B) ("the collateral . . . is in the possession of the secured party . . . pursuant to the debtor's security agreement") are met. The gramophone was in the possession of the bank, and this was pursuant to the company's "security agreement." A "security agreement" is an agreement that creates or provides for a security interest. UCC § 9-102(a)(74). Thus, the oral agreement between the company's owner (speaking for the company) and the bank is a security agreement pursuant to which the bank took possession of the gramophone. Accordingly, when the bank took possession of the gramophone, its security interest was enforceable and attached.

An attached security interest can be perfected in many ways. *See generally* UCC § 9-308. In the case of security interests in goods, one method of perfection is for the secured party to take possession of the goods. UCC §§ 9-310(b)(6), 9-313(a). Thus, the bank's possession of the gramophone not only was an element of enforceability and attachment but also resulted in perfection of the security interest.

Because the bank's security interest in the gramophone was perfected before the judgment creditor became a lien creditor, the bank's security interest is superior to the judgment creditor's judicial lien.

[NOTE: An examinee may mention that the language in the loan agreement, standing alone, would be insufficient to create an enforceable and attached security interest in the gramophone. This is accurate, but the bank's possession of the gramophone pursuant to the oral agreement is sufficient. Thus, the security interest is enforceable and attached whether or not the language in the written loan agreement would suffice in the absence of the bank's possession. Some examinees may discuss the elements of enforceability of a possessory security interest in the answer to question 1 and refer back to that discussion in their answer to this question. Such examinees should get credit for that analysis as part of their answer to question 2. Examinees may organize their answers either way and receive full credit.]

Point Three (40%)

The bank does not have an enforceable security interest in the company's other assets because the description of the collateral in the loan agreement is insufficient to create an enforceable security interest in those assets.

A security interest attaches when it becomes enforceable unless the time of attachment has been postponed by agreement. UCC § 9-203(a). The three criteria in UCC § 9-203(b) have not been satisfied. The first two criteria are clearly satisfied: "value" has been given (because the loan was made) and the debtor (the company) has rights in its personal property (because it owns it). *See* UCC §§ 9-203(b)(1)–(2) and 1-204. The third criterion has not been satisfied.

Here, because the bank does not have possession of the remaining personal property of the company (and other specialized criteria are inapplicable), the bank's security interest in that personal property is enforceable only if the requirements of UCC § 9-203(b)(3)(A) are met. Under that provision, the debtor must have authenticated (i.e., signed or its electronic equivalent) a security agreement that contains a description of the collateral. The loan agreement is a security agreement inasmuch as it creates or provides for a security interest. UCC § 9-102(a)(74). Moreover, it is authenticated inasmuch as we are told in the question that the loan agreement was signed by the company's owner. *See* UCC § 9-102(a)(7) (definition of "authenticate") and UCC § 1-201(b)(37) (definition of "signed"). The description of the collateral in the security agreement is insufficient, however. UCC § 9-108(a) states that, except as provided in, *inter alia*, UCC § 9-108(c), a description of personal property is sufficient if it reasonably identifies what is described. UCC § 9-108(c), though, provides that descriptions of a debtor's property such as "all of the debtor's personal property" or words of a similar import do *not* reasonably identify the collateral. Here, the description of the collateral in the loan agreement is "all personal property" owned by the company. Therefore, the description is insufficient under UCC § 9-108, and accordingly the security agreement does not satisfy the requirements of UCC § 9-203(b)(3)(A).

Thus, the bank's security interest in the company's assets (other than the gramophone in the possession of the bank discussed in Point One) is not enforceable. Since the security interest is not enforceable, it did not attach; since the security interest did not attach, the security interest is not perfected.

[NOTE: An examinee may mention that “all personal property” is a sufficient indication of collateral in a financing statement. That is true. UCC § 9-504(2). But the filing of a financing statement cannot perfect a security interest that does not attach. Therefore, the security interest is not perfected here even if the financing statement would be sufficient to perfect a security interest that, unlike here, attached.]

AGENCY & PARTNERSHIP ANALYSIS

AGC (V.A.; VI.; VII.; VIII.)

ANALYSIS

Legal Problems:

- (1) What type of business entity is Radiology Services?
- (2) Did Carol have the authority to purchase the imaging machine without the consent of Jean and Pat?
- (3) Did Jean's statements to Carol constitute a withdrawal from Radiology Services?
- (4) Were Jean's statements sufficient to entitle her to receive a buyout payment from Radiology Services for her interest in the practice?

DISCUSSION

Summary

Radiology Services is an "at-will" general partnership because Carol, Jean, and Pat agreed to share profits and operate the business together without specifying a specific term. They did not form a limited liability company (LLC), as they intended, because no documentation to create an LLC was signed or filed.

As a partner of the general partnership, Carol had the authority to purchase the imaging machine on behalf of the partnership without the consent of either Jean or Pat because each partner has the authority to conduct partnership business. And while a partner may be liable to the other partners for a purchase that exceeds her authority, here Jean likely has no claim against Carol for purchasing the machine without the consent of Jean and Pat because the purchase of the imaging machine was most likely in the ordinary course of the business of the partnership.

Jean's oral statements to Carol stating her will to withdraw from Radiology Services resulted in her dissociation from the partnership, and because the partnership was "at will," her dissociation was not wrongful.

Because Carol and Pat agreed to continue the partnership, Jean's dissociation did not result in the dissolution and winding up of the partnership. Instead, Jean is entitled to receive a buyout payment from Radiology Services for her one-third partnership interest 120 days after making a written demand for payment. Because Jean did not make a written demand, the partnership has no specified time in which to pay her the buyout price.

[NOTE: General partnerships are governed by either the Revised Uniform Partnership Act (RUPA) (1997, as amended), the Revised Uniform Partnership Act (1997), or the Uniform Partnership Act (1914) (UPA). The 1997 act, which the Uniform Law Commission amended in both 2011 and 2013 as part of its harmonization project, applies in all states (sometimes with the amendments) except for Georgia, Indiana, Louisiana, Massachusetts, Michigan, Missouri, New Hampshire, New York, North Carolina, Pennsylvania, Rhode Island, South Carolina,

and Wisconsin, which continue to use versions of the UPA (1914). Because the facts state that Radiology Services is in a jurisdiction that has adopted the RUPA (1997, as amended), citations to the other acts are omitted, although the results under those acts are similar.

The Uniform Limited Liability Company Act (2006, as amended) contains principles that are widely adopted in LLC law. In all states, articles of organization must be signed and filed to create an LLC.]

Point One (20%)

Radiology Services is a general partnership. Despite their intentions, Carol, Pat, and Jean never formed a limited liability company.

A general partnership is formed whenever two or more persons associate (whether or not in writing) for the purpose of carrying on a business for profit. *See* Revised Uniform Partnership Act (RUPA) § 202(a) (1997, as amended) (“the association of two or more persons to carry on as co-owners a business for profit forms a partnership, whether or not the persons intend to form a partnership”). Here, by agreeing to share profits and operate their radiology practice together, Carol, Jean, and Pat formed a general partnership, despite their intention to operate their business as a limited liability company. Furthermore, because the partnership was for neither a fixed term nor a specific undertaking, it was an “at-will” partnership.

A limited liability company is formed by the filing of a signed certificate of organization with the Secretary of State. *Rev. Unif. Limited Liability Company Act* § 201 (2006, as amended). Here, no certificate was signed or filed; thus, Carol, Jean, and Pat did not form a limited liability company.

[NOTE: Although some jurisdictions have recognized the “de facto” LLC doctrine where there has been a good-faith but failed attempt to form the LLC, this doctrine insulates members only from liability to third parties; it does not create an LLC as between the members themselves. *See* Emeka Duruigbo, *The De Facto and Estoppel Concepts in the LLC Context: Still Birth or Stunted Growth?*, ExpressO (2009), available at https://works.bepress.com/emeka_duruigbo/1/.]

Point Two (30%)

Carol had the authority to purchase the imaging machine without the consent of Jean and Pat because it appears that Carol purchased the machine in the ordinary course of business and was unaware of Jean’s concerns about purchasing expensive imaging equipment.

Section 401(h) of the Revised Uniform Partnership Act, as amended, provides that “each partner has equal rights in the management and conduct of the partnership’s business.” This grant of authority to each partner is tempered by subsection 401(k), which provides: “A difference arising as to a matter in the ordinary course of business of a partnership may be decided by a majority of the partners. An act outside the ordinary course of business of a partnership and an amendment to the partnership agreement may be undertaken only with the affirmative vote or consent of all the partners.”

As the comments to Section 401(h) note, the scope of a partner's authority is governed by agency law principles. If the partnership agreement is silent on the scope of the agent-partner's authority, a partner has actual authority to commit the partnership "to usual and customary matters, unless the partner has reason to know that (i) other partners might disagree, or (ii) for some other reason consultation with fellow partners is appropriate." *See* comments to RUPA § 401 (1997, as amended). In light of this principle, a partner has authority to bind the partnership as to "usual and customary" dealings with third parties and need not seek the prior approval of the other partners unless the partner has reason to believe that the other partners might not approve or might expect to be consulted. Furthermore, under general agency law principles, a partner does not have actual authority to take "unusual or non-customary actions that will have a substantial effect on the partnership." *Id.*, comment to subsection h.

Here, it appears that purchase of the equipment was in the ordinary course of business. The partners had purchased state-of-the-art imaging equipment when they started the practice, they had agreed to run the practice in a manner consistent with other area practices, and other practices had bought equipment like that which Carol purchased.

Further, although Jean had concerns about the practice purchasing expensive imaging machines, there is no indication that Carol was aware of Jean's concerns when she made the purchase. The facts clearly state that Jean did not express her concerns to either Carol or Pat. Furthermore, the facts indicate that the three partners (including Jean) had agreed that the partnership would have imaging equipment that would allow it to be competitive with other similar practices in the community.

Point Three (20%)

Jean's oral statement to Carol, "I'm out of here," resulted in Jean's dissociation from the partnership.

A partner is dissociated from a partnership when the partnership has notice of the partner's will to withdraw as a partner. RUPA § 601(1) (1997, as amended). A partner can dissociate from the partnership at any time. The notice of the partner's will to withdraw need not be in writing. *See* RUPA §103(b)(6) (partnership agreement *may* provide that notice of withdrawal be in writing). The dissociation is rightful—that is, the dissociating partner has no obligations to the other partners—when the partnership is at will and the dissociation breaches no express provision in the partnership agreement. *See also* RUPA § 102(13) (1997, as amended) ("'partnership at will' means a partnership in which the partners have not agreed to remain partners until the expiration of a definite term or the completion of a particular undertaking"); § 602(b) (1997, as amended) (specifying that a partner's dissociation is wrongful in an at-will partnership "only if . . . it is in breach of an express provision of the partnership agreement").

Here, Jean's statement to Carol that "I'm out of here and never coming back" constituted a dissociation, and it was not wrongful because there is no indication in this at-will partnership that her withdrawal breached any express provision in the partnership agreement.

Point Four (30%)

Because Carol and Pat agreed to continue the partnership, Jean's dissociation did not result in the dissolution and winding up of the partnership. Instead, Jean is entitled to receive a buyout price for her partnership interest 120 days after she makes written demand for payment. Because her demand was not in writing, the partnership has no specified time in which to make payment.

Normally, a partner's dissociation in an at-will partnership results in its dissolution, and the business must be wound up. *See* RUPA § 801(1) (1997, as amended). But such dissolution can be rescinded by the affirmative vote or consent of all remaining partners. *Id.* § 803; *accord*, RUPA § 802(b) (1997, as amended) (permitting the partners to "waive the right to have the partnership's business wound up and the partnership terminated"). Under RUPA, as amended, the dissociating partner is no longer considered a partner and does not participate in this decision to continue the partnership. *See* RUPA § 102(10) (1997, as amended) (the term "partner" does not include a partner who dissociated under Section 601).

When a partnership is continued and not dissolved, the dissociating partner is entitled to have her interest purchased for a buyout price equal to that partner's interest in the value of the partnership, based on the greater of its liquidation or going-concern value (plus interest from the date of dissociation). RUPA § 701 (1997, as amended). Further, if the withdrawing partner makes a written demand for payment and no agreement is reached within 120 days after the demand, the partnership must pay in cash the amount it estimates to be the buyout price, including accrued interest. *Id.* § 701(e).

Here, although Jean made clear her will to withdraw, the partnership was not dissolved because Carol and Pat agreed to continue the partnership. Thus, Jean would be entitled to receive payment of a buyout price. Although Jean made an oral statement demanding payment for her interest, her demand was not in writing. Thus, the partnership does not have a specific time in which to pay the buyout price. But if Jean makes her demand in writing, the partnership would have to reach an agreement with her on the buyout price within 120 days or, failing this, pay her in cash its estimate of the buyout price plus accrued interest.

CIVIL PROCEDURE ANALYSIS

CIV (I.A., B.)

ANALYSIS

Legal Problems:

- (1)(a) Does the woman's claim for \$1 million in damages satisfy the amount-in-controversy requirement for diversity jurisdiction?
- (1)(b) Is the woman a citizen of State C or State A for the purpose of determining federal diversity jurisdiction?
- (1)(c) Is the airline a citizen of State A, State B, or State C for the purpose of determining federal diversity jurisdiction?
- (2)(a) Are there sufficient contacts between the airline and State B for a State B court to exercise specific personal jurisdiction over the airline in a personal injury action brought by a State C resident, arising out of an accident in State A, and involving travel between States A and C?
- (2)(b) Are there sufficient contacts between the airline and State B for a State B court to exercise general personal jurisdiction over the airline in a personal injury action brought by a State C resident, arising out of an accident in State A, and involving travel between States A and C?

DISCUSSION

Summary

The court should grant the motion to dismiss. Although the court would have diversity jurisdiction, the court lacks personal jurisdiction over the airline.

The woman's claim against the airline is based on state law, so diversity is the only basis upon which a federal district court could exercise subject-matter jurisdiction over this case. Here, the amount in controversy is more than \$1 million and clearly sufficient for diversity jurisdiction. Further, the parties are diverse.

The woman's citizenship, determined by her domicile, is State C, where she has lived her entire life.

The airline is a citizen of State A, where it is incorporated and where its corporate headquarters are located.

The federal court in this case can exercise personal jurisdiction over the airline only if the airline would be subject to the jurisdiction of the State B state courts. Because the State B courts exercise jurisdiction to the limits of the Constitution, the question is whether the airline has sufficient "minimum contacts" with State B "such that the maintenance of the suit [in State B]

does not offend traditional notions of fair play and substantial justice.” *International Shoe Co. v. Washington*, 326 U.S. 310, 316 (1945).

Here, there are insufficient contacts with State B for either general or specific jurisdiction. The only contact between the airline and State B that is mentioned in the facts is that State B is the location of the airline’s online and telephone reservation center. The woman’s personal injury action arises out of an accident that occurred in State A and had no connection at all to State B. Although the woman booked her ticket through the reservation center in State B, the woman’s claim for bodily injury has no relation to the manner in which she purchased her ticket or to the fact that the reservation center is in State B. On these facts, it does not seem that the airline could reasonably anticipate being haled into a State B court for this particular claim. Moreover, if this claim is allowed, then any personal injury claim against the airline could be litigated in State B, regardless of where and how the injury occurred, if the related ticket was booked online or by telephone. This seems unreasonable, without some additional evidence concerning the nature and extent of the airline’s State B contacts.

Point One(a) (10%)

The court has diversity jurisdiction only if the amount in controversy exceeds \$75,000 and the parties are citizens of different states.

The diversity jurisdiction statute, 28 U.S.C. § 1332(a)(1), grants original federal jurisdiction to the United States District Courts in cases “where the amount in controversy exceeds . . . \$75,000 . . . and is between (1) citizens of different States.” Diversity of citizenship is determined as of the time the suit is filed.

Here the woman’s claim for relief seeks in excess of \$1 million, a potentially credible amount since the facts note that the woman sustained serious and permanent physical injuries that interfered with her ability to act upon a job offer. In deciding a motion to dismiss on jurisdictional grounds, the court will take the woman’s claim for relief at face value with respect to the amount in controversy unless it “appear[s] to a legal certainty that the claim is really for less than the jurisdictional amount.” *St. Paul Mercury Indemnity Co. v. Red Cab Co.*, 303 U.S. 283, 289 (1938).

Point One(b) (20%)

Here, the woman is a citizen of State C because, despite her desire to move to State A, she has never established a residence in State A.

The citizenship of individuals for diversity purposes is determined by domicile at the time of the lawsuit. Domicile continues until changed, and in this case, the facts demonstrate that when the events began, the woman, a lifelong resident of State C, was a State C domiciliary and a State C citizen for diversity purposes. A person can change her domicile by (1) taking up residence in a new jurisdiction with (2) the intent to remain there indefinitely. *Gilbert v. David*, 235 U.S. 561

(1915). Here, the woman appears to have had an intention to move to State A and make it her home indefinitely. She accepted a job in State A, and she signed a lease on an apartment there.

However, the woman never took up residence in State A and therefore did not change her domicile. The mere “expression of an intention to move one’s residence, without actually moving” is not sufficient to establish a domicile. Jack H. Friedenthal, Mary Kay Kane & Arthur R. Miller, *Civil Procedure* 31–32 (4th ed. 2005). The woman was temporarily present in State A and signed a one-year lease for an apartment. She was also briefly hospitalized in State A. But her physical presence in State A never coincided with a *present* intent to remain in State A indefinitely. At the time of her trip to State A, she always intended to return to State C and to make her permanent move to State A at a later date. Thus, that trip alone would be insufficient to change the woman’s diversity citizenship from State C to State A.

[NOTE: An examinee who erroneously concludes that the September events did change the woman’s domicile to State A should consider whether subsequent events changed her domicile back to State C. Thus, after her hospitalization, she returned to State C to live, with a desire to move to State A in the future, but with no clear time at which that would happen. Thus, it would be reasonable to conclude that the woman re-acquired her State C domicile because she is now present there with no immediate plans to leave (i.e., she intends to remain there for an indefinite period of time).]

Point One(c) (20%)

The airline is a citizen of State A, where it is incorporated and where, under the “nerve center” test of *Hertz Corp. v. Friend*, the airline has its principal place of business.

The airline’s citizenship for diversity purposes is determined by both the place of its incorporation and the place where it has its principal place of business. *See* 28 U.S.C. § 1332(c)(1). Here, its place of incorporation is State A. Its principal place of business is “the place where the corporation’s high-level officers direct, control, and coordinate the corporation’s activities.” *See Hertz Corp. v. Friend*, 559 U.S. 77, 80 (2010). The facts state that the airline’s corporate headquarters are in State A, and there is no suggestion that the officers run the corporation from any other location. The airline is, therefore, a citizen of State A under the principal-place-of-business rule as well as the place-of-incorporation rule.

Because the airline is a citizen of State A and the woman is a citizen of State C, the parties are diverse. As noted earlier, the amount in controversy exceeds \$75,000. Thus, the court has diversity jurisdiction.

Point Two(a) (25%)

The fact that the airline maintains an online reservation facility in State B is not a sufficient basis for State B to exercise specific personal jurisdiction over a personal injury action that arose out of an incident in another state, involved airline transportation between two different states, and was brought by a plaintiff who is a resident of another state.

A federal court can exercise personal jurisdiction over a defendant who is subject to the jurisdiction of the courts of the state in which the federal court sits. *See* Fed. R. Civ. P. 4(k)(1)(A). In this case, State B's courts exercise jurisdiction to the limits of the Constitution. The federal district court can therefore take personal jurisdiction over the airline if the airline has sufficient "minimum contacts" with State B "such that the maintenance of the suit [in State B] does not offend traditional notions of fair play and substantial justice." *International Shoe Co.*

v. Washington, 326 U.S. 310, 316 (1945). In this inquiry, two critical questions are whether the quality and nature of the airline's contacts with the jurisdiction are such that it can reasonably anticipate being haled into court there and whether those contacts are such that it is reasonable to expect the airline to defend the action in State B. In *Helicopteros Nacionales de Colombia, S.A. v. Hall*, 466 U.S. 408 (1984), the Supreme Court recognized a distinction between "general jurisdiction" (also called "all-purpose" jurisdiction), which permits a court to exercise jurisdiction over any claim against a defendant if the defendant has extensive connections with the forum, and "specific jurisdiction" (also called "case-linked" jurisdiction), which permits a forum to hear a case only if the suit arises out of or relates to the defendant's forum contacts.

In this case, there does not seem to be a basis for State B to exercise specific jurisdiction. For specific jurisdiction to be proper, there must be "'an affiliation between the forum and the underlying controversy,' principally, activity or an occurrence that takes place in the forum State and is therefore subject to the State's regulation." *Goodyear Dunlop Tires Operations, S.A. v. Brown*, 564 U.S. 915, 919 (2011).

Here, the only connection between the airline and State B is that State B is the location of the airline's reservation center. The woman's suit, however, is not directly related to the presence of the airline reservation center in State B. Rather, the woman's claim against the airline arises from the accident in State A and her use of the airline to fly between States A and C. The airline's affiliation with State B is not sufficiently related to the woman's claim to require the airline to defend the action in State B on the basis of specific jurisdiction.

Point Two(b) (25%)

The airline's operation of a reservation center in State B is not a sufficient basis for a State B court to exercise general jurisdiction over the airline when the airline is incorporated elsewhere, its principal place of business is elsewhere, and its operations in other states are far more extensive than in State B.

General (all-purpose) jurisdiction is proper over a corporation only when "the continuous corporate operations within a state [are] so substantial and of such a nature as to justify suit . . . on causes of action arising from dealings entirely distinct from those activities." *International Shoe Co. v. Washington*, 326 U.S. 310, 318 (1945). Although courts and commentators often have described the standard for general jurisdiction as whether a corporation has engaged in a "substantial, continuous and systematic course of business" in a state, the Supreme Court has recently described that standard as "unacceptably grasping." *Daimler A.G. v. Bauman*, 571 U.S.

117, 138 (2014). The proper test is not whether the activities are “continuous and systematic,” it is whether the business’s “affiliations with the State are so ‘continuous and systematic’ as to render [it] essentially at home in the forum state.” *Daimler A.G.* at 138–39 (quoting *Goodyear Dunlop Tires Operations, S.A. v. Brown*, 564 U.S. 915 (2011)). There are “only a limited set of affiliations with a forum” that will justify concluding that the corporation is “essentially at home” there. The paradigmatic affiliations are place of incorporation and principal place of business, each of which has “the virtue of being unique . . . as well as easily ascertainable.” *Daimler A.G.*, 571 U.S. at 137.

In this case, the maintenance of a reservation center in State B that employs 150 people is unlikely to be enough to justify a conclusion that the airline is “essentially at home” there. The airline is incorporated elsewhere, its headquarters are elsewhere, and the bulk of its physical operations (employing thousands of people) occur elsewhere. The fact that it engages in substantial business activities in State B (as well as in other states where it conducts part of its operations) is, by itself, not sufficient to satisfy the court’s requirement that it be “essentially at home” there, especially given the Court’s admonition that only a “limited set of affiliations” will suffice for a forum to assert all-purpose jurisdiction over a defendant. *See, e.g., Bristol-Myers Squibb Co. v. Superior Court*, 377 P.3d 874, 883 (Cal. 2016) (drug company is not “at home” in California—even though it sells “large volumes of its products” in California, maintains several research facilities in California, and employs hundreds of people in California—when company’s forum operations “are much less extensive than its activities elsewhere in the United States,” and company is incorporated and has its principal place of business elsewhere), *reversed on other grounds*, 137 S.Ct. 1773 (2017).

Because there is no personal jurisdiction, the court should grant the motion to dismiss.

[NOTE: Pursuant to 28 U.S.C. § 1631, the court has the authority to transfer the case to another court in order to avoid the jurisdictional problem. Some examinees may mention this as an alternative to dismissal.]

TRUSTS & FUTURE INTERESTS ANALYSIS

TRU (I.C.2., E., F., I.2., I.4., I.5.)

ANALYSIS

Legal Problems:

- (1) Could the trustee have properly distributed trust assets to the son to enable him to pay his hospital bill, child support obligations, or loan to purchase the computer-gaming system?
- (2) Did the trustee abuse his discretion in refusing to make any distributions to the son?
- (3) In light of both the discretion granted the trustee and the spendthrift clause in the trust, may the son's three creditors obtain orders requiring the trustee to pay their claims against the son from trust assets?

DISCUSSION

Summary

The settlor created a discretionary support trust with spendthrift protection. A discretionary support trust permits distributions *only* for the support of trust beneficiaries, and it provides a trustee with discretion (which the trustee may not abuse) to withhold a distribution even when a beneficiary needs support.

A hospital bill and court-ordered child support are debts incurred for support, which the trustee could pay in his discretion, but a loan to purchase a recreational computer-gaming system would not likely be characterized as a debt incurred for support.

Given the trustee's personal animosity toward the son, the trustee's comparatively liberal distributions to the daughter, and the absence of any reasonable justification for withholding distributions to the son, the son should be able to show that the trustee breached his duty by refusing to make distributions to the son. Thus, the son should be able to bring a successful action against the trustee for the trustee's failure to make distributions that would have enabled him (in whole or in part) to pay the hospital and child-support debts or receive other distributions for support.

Under the Restatement (Third) of Trusts, a creditor of a support trust beneficiary with spendthrift protection may reach trust assets if the creditor provided a necessary to the trust beneficiary or seeks to enforce a child-support claim. The son's former wife and the hospital thus should be able to obtain orders against the trustee for their respective claims. However, because the purchase of a computer-gaming system is not a "necessary" for a person of modest means, the friend cannot obtain an order against the trustee seeking payment for that debt. Under the provisions of the Uniform Trust Code, only the child support would be recoverable.

Point One (40%)

The settlor created a discretionary support trust subject to a spendthrift clause. The hospital bill and child support debt are support expenses for which the trustee could distribute trust assets to the son. The loan to purchase a computer-gaming system is not likely to be characterized as support.

The settlor created a discretionary support trust subject to a spendthrift clause. A support trust permits distributions from the trust to enable the beneficiary to maintain his or her accustomed standard of living. Restatement (Third) of Trusts § 50, cmt. d(2). When a trust instrument grants the trustee of a support trust discretion whether or not to pay a beneficiary's support-related expenses, the trustee's judgment controls unless the trustee abuses his discretion. *Id.* § 50 cmt. d(1).

This trust is also subject to a spendthrift clause. This clause may prevent a beneficiary's creditors from reaching trust assets, see Point Three, but it does not prevent the beneficiary himself from reaching trust assets if the trustee has abused his discretion in failing to make payments to the beneficiary.

The meaning of the term "support" is fact-dependent. Support includes more than necessities or bare essentials. Most courts measure support in terms of the lifestyle to which the beneficiary has become accustomed even if the trust instrument does not expressly refer to that lifestyle. A beneficiary's accustomed lifestyle is determined at the time the beneficiary's trust interest is created, but is subject to adjustment to accommodate the beneficiary's changing needs. *Id.* § 50 cmt. d(2).

Necessary medical care is invariably treated as support. *Id.* Support also invariably includes "reasonable amounts for the support of . . . minor children who reside elsewhere but for whom the beneficiary either chooses or is required to provide support." *Id.*

Here, the trustee could properly have distributed trust assets to the son to pay the son's hospital bill and child support obligation.

On the other hand, without more facts, a distribution to allow repayment of the son's debt incurred for the purchase of a computer-gaming system would not appear to be a distribution for the son's support. Of course, if the son could establish that such a system is necessary to allow him to live in accordance with his accustomed lifestyle, then it might be considered a support expense. However, the facts state that the son's income is about \$35,000, a modest sum in light of the son's child support obligation and expenses for basic needs such as health care, food, clothing, shelter, and transportation. Given this income, it is unlikely that the son could establish a lifestyle that would warrant the trustee's conclusion that the recreational computer-gaming system is a support expense.

Point Two (35%)

The trustee likely abused his discretion in failing to make any distributions to the son, including distributions for the payment of the hospital bill and child support.

The fact that the son's hospital bill and child support obligations should be characterized as support is not the end of the matter. When the trust instrument grants a trustee discretion to pay a beneficiary's support-related expenses, the trustee's judgment controls unless the trustee abuses his discretion. Restatement (Third) of Trusts § 50, cmt. d(1). A trustee's discretionary power is subject to judicial control "only to prevent . . . abuse of the discretion by the trustee." *Id.* § 50. Trustees may have a number of legitimate reasons to withhold payments from a beneficiary, including discharging the trustee's duty to act impartially with respect to all trust beneficiaries and the beneficiary's ability to pay the expenses from other resources. However, if a court finds that a trustee acted in bad faith or with an improper motive, it may overrule his decisions. *Id.*

What constitutes an abuse of discretion, according to the Restatement (Third), depends upon the terms of the trust instrument and the other duties of the trustee, such as the duty to administer the trust in accordance with its terms, the duty to act impartially, and the duty of care. *See id.* § 50, cmt. b. These duties, read together, entitle the beneficiary to "general information concerning the bases upon which the trustee's discretionary judgments have been or will be made." *Id.* Furthermore, a trustee abuses discretion by acting in bad faith or with an improper motive. *Id.*; *see also* § 50, cmt. e(1).

As section 50 of the Restatement (Third) suggests, where, as here, there are multiple trust beneficiaries, the trustee's duty of impartiality requires that, in making distributions, the trustee act "with due regard for the diverse beneficial interests created by the terms of the trust." *Id.* § 79. "The duty of impartiality is an extension of the duty of loyalty to beneficiaries but involves, in typical trust situations, unavoidably and thus permissibly conflicting duties to various beneficiaries with their competing economic interests.

It would be overly simplistic, and therefore misleading, to equate impartiality with some concept of 'equality' of treatment or concern—that is, to assume that the interests of all beneficiaries have the same priority and are entitled to the same weight in the trustee's balancing of those interests. Impartiality does mean that a trustee's treatment of beneficiaries or conduct in administering a trust is not to be influenced by the trustee's personal favoritism or animosity toward individual beneficiaries, even if the latter results from antagonism that sometimes arises in the course of administration." *Id.* at § 79, cmt. b.

Here, there is a strong argument that the trustee abused his discretion by withholding support distributions from the son. He ignored the son's repeated requests for distributions, without offering any reason for his refusals. He made substantial distributions to the daughter, whose income was not, on average, different from the son's. The trustee made disparaging comments about the son (that the son was a "bum," a "terrible father," and an "adulterer," and was "rude" to the trustee). Together, these facts support an inference that the trustee withheld distributions from the son because of personal animus rather than a valid reason. All of this supports the conclusion that the trustee abused his discretion in withholding distributions from the son.

[NOTE: Although the question does not ask whether the son could successfully sue based on the trustee's abuse of discretion or what he could recover if his suit were successful, in cases like

this one, if the court finds an abuse of discretion, it will typically make an independent judgment of what the trustee would have distributed when carrying out his fiduciary duties and then direct that such payment be made from the trust, if trust assets are available, or otherwise surcharge the trustee. *See generally* Unif. Trust Code § 504(d).]

Point Three (25%)

Despite the trust's spendthrift clause, the son's former wife and, assuming that the necessities doctrine applies, the hospital may reach the son's interest in the trust to satisfy their claims if the trustee abused his discretion. However, the friend cannot reach the son's interest to satisfy his claim against the son.

The trust created by the settlor was discretionary. “[I]f the terms of a trust provide for a beneficiary to receive distributions in the trustee’s discretion . . . a creditor of the beneficiary is entitled to receive . . . any distributions the trustee . . . is required to make in the exercise of that discretion ” *See* Restatement (Third) of Trusts § 60.

This general principle does not apply, however, when a trust includes a spendthrift clause. *See id.* § 59. A spendthrift clause puts trust assets out of the reach of most creditors of a trust beneficiary until such time as trust assets are distributed to that beneficiary. *Id.* § 58. *Accord*, Unif. Trust Code § 502.

However, even when a trust provides spendthrift protection, claims against a beneficiary for unpaid child support may still be enforced against the trust. *See* Restatement (Third) of Trusts § 59 cmt. b; Unif. Trust Code § 504(c)(2) (a court may order the trustee to pay the child “such amount as is equitable under the circumstances but not more than the amount the trustee would have been required to distribute for the benefit of the beneficiary had the trustee complied with the [support] standard or not abused the discretion.”). Here there is a strong argument that the trustee breached his discretion (*see* Point Two), such that the former wife will be able to obtain payment from the trustee.

In some jurisdictions, creditors who provided the beneficiary with “necessaries” such as health care may reach the beneficiary’s interest in satisfaction of any unpaid debt despite a spendthrift clause. Restatement (Third) of Trusts §§ 59, 60 cmt. c. (Comments to the Restatement suggest that the creditor may reach the beneficiary’s interest but may not force a sale of the interest. In such a case, the court could direct the trustee to distribute trust income to the creditor until the claim is paid. *Id.* § 56 cmt. e.). Medical care is invariably treated as a necessary. But if in addition to a spendthrift clause, distributions are discretionary with the trustee, the creditor who provided the beneficiary with a necessary cannot compel a distribution if the beneficiary could not do so. In other words, the creditor cannot compel a distribution in the absence of an abuse of discretion. *Id.* § 60 cmt. e.

The necessities exception is not recognized in the Uniform Trust Code. *See* Unif. Trust Code §§ 503 and 504, cmt. to subsection b. Comments to the Restatement also suggest that the necessities rule, while consistent with prior trust Restatements, is not followed in some U.S. jurisdictions. In these jurisdictions, the hospital cannot reach the son's interest in the trust in satisfaction of its claim.

In jurisdictions that follow the necessities doctrine as applied to a spendthrift clause, the hospital's claim is not barred by the spendthrift clause. But because distributions from the trust are discretionary, the hospital will not be able to reach the son's interest unless the trustee abused his discretion. Here, there is a strong argument that the trustee abused his discretion, thus allowing the hospital to reach the son's interest and obtain some payment from the trustee. *See* Point Two.

The friend should not succeed in his suit against the trustee. The friend's claim is not a claim for support, and here, the facts cannot support an assertion that a \$5,000 computer-gaming system is a "necessary" for the son.

CRIMINAL LAW & PROCEDURE ANALYSIS

CRM (II.A., B., D.; IV.B.1.)

ANALYSIS

Legal Problems:

- (1) Does someone who unlawfully enters the dwelling of another commit burglary when the purpose of the entry was to retrieve property that the person owns?
- (2)(a) Does someone who sells property that has been temporarily entrusted to him by its owner commit the crime of larceny when he acts without authorization and with the intention of depriving the owner of his property?
- (2)(b) Does someone who sells property that has been temporarily entrusted to him by its owner commit the crime of embezzlement when he acts without authorization and with the intention of depriving the owner of his property?
- (3) Does a purchaser of property commit the crime of receiving stolen property when the surrounding circumstances suggest that a reasonable person should have been alerted to the fact that the property she received was stolen?

DISCUSSION

Summary

Ben, who intended only to retrieve his own painting from the neighbor's house, did not have an intent to commit a felony therein. Therefore, he should not be charged with burglary.

The facts do not support a charge of larceny against Ben for his acts in connection with the print. Larceny is typically defined under the common law as the misappropriation of another's property by means of taking it from his possession without his consent. With respect to the print, Ben did not take it from its owner without his consent. To the contrary, the neighbor voluntarily loaned the print to Ben. Ben's subsequent sale of the print, while wrongful, was not larceny.

On the other hand, Ben may be charged with the theft crime of embezzlement for his acts in connection with the print. A person in lawful possession of another's property commits embezzlement when he wrongfully converts the property with the intent to deprive the owner of it. Ben's sale of the print to the art dealer constituted an embezzlement because Ben's intent was to permanently deprive the neighbor of the print.

Whether the art dealer should be charged with receiving stolen property for her acts in connection with the print depends on whether there is sufficient evidence that she knew the print was stolen. The crime of receiving stolen property typically has two elements: (1) the actus reus of the receipt of stolen property and (2) the simultaneous mens rea of the defendant's

knowledge that the property was stolen. Here, the art dealer “received” the print when she took physical possession of it following the sale by Ben. The central question is whether the art dealer satisfies the mens rea requirement of knowledge that the print was stolen. Proof of the requisite knowledge can be inferred from the surrounding circumstances, including (1) the low price; (2) Ben’s statement to the art dealer, “I can sell this print to you at such a good price only because I shouldn’t have it at all”; (3) the art dealer’s failure to investigate the provenance of the print; (4) the fact that the art dealer contacted, on the same day she acquired the print, a foreign art collector famously uninterested in exploring the ownership history of his acquisitions; and (5) the sale of the print by the art dealer to the collector for 10 times what she had paid for it. Given these circumstances, the art dealer likely had knowledge that the print was stolen.

Point One (20%)

Ben should not be charged with burglary based on his attempt to recover the painting because he did not act with the necessary mens rea.

At common law, burglary was defined as the “breaking and entering of the dwelling house of another in the night with the intent to commit a felony” therein. *See* Wayne R. LaFare, *Criminal Law, Chapter 21: Real Property Crimes* § 21.1 (5th ed. 2010).

Ben’s acts clearly satisfy three of the elements of burglary as defined by the common law and in statutes based on the common law: (1) Ben illegally entered the neighbor’s home by using force to push open the neighbor’s ground-floor window and starting to climb inside; (2) the neighbor’s house is a “dwelling,” a “structure,” or an “occupied structure” (it would even satisfy the common law requirement of a “dwelling”); and (3) Ben’s acts occurred at night.

Here, the only question is whether Ben satisfies the mens rea requirement. The evidence suggests that Ben did not intend to commit a felony in the neighbor’s home because he intended only to retrieve his own painting. On these facts, Ben should not be charged with burglary.

Point Two(a) (20%)

Ben should not be charged with the theft crime of larceny of the print because he did not take possession of the print without the neighbor’s consent with the intent to steal it from the neighbor.

The crime of “theft” was traditionally three separate crimes: larceny, embezzlement, and false pretenses. *See* LaFare, *supra*, *Chapter 19: Theft* § 19.1. Here, Ben should not be charged with larceny, although he should be charged with embezzlement (*see* Point Three).

At common law, larceny was defined as the misappropriation of another’s personal property by means of taking it from his possession without his consent. *See id.* Larceny requires an intent to steal. *See Binnie v. State*, 583 A.2d 1037, 1041–42 (Md. Ct. App. 1991) (noting that intent to steal not established by the defendant’s honest belief, even if such belief was mistaken, that the property belonged to him). Moreover, under the common law, the intent to retain property

temporarily and then return it to its rightful owner has long provided a defense to larceny. *See, e.g., Impson v. State*, 58 P.2d 523, 524 (Ariz. 1936).

Here, Ben should not be charged with larceny because (a) he did not take the print from the neighbor without the neighbor's consent, and (b) there are no facts showing that he had the requisite intent to steal when he took the print from the neighbor. It was the neighbor who had proposed swapping the artworks. Thus, when Ben took possession of the neighbor's print he had the neighbor's permission to take it, and there are no facts supporting an inference that Ben intended to steal it from the neighbor at that time.

Point Two(b) (30%)

Ben should be charged with the theft crime of embezzlement because his sale of the neighbor's print to the art dealer was a wrongful conversion of that property done with the intent to permanently deprive the neighbor of his property.

To cover the case where someone in lawful possession of another person's property wrongfully misappropriates such property, the English parliament and U.S. legislatures developed the theft crime of embezzlement. Although precise statutory definitions vary, embezzlement generally occurs when a person unlawfully converts property owned by another to his own use with the intent to permanently deprive the lawful owner of the property. LaFave, *supra*, § 19.6.

Here, Ben should be charged with embezzlement. The neighbor loaned the print to Ben so that Ben could hang it in his living room temporarily. *See id.* § 19.6(e). When Ben, in a fit of anger following his arrest, sold the print to the art dealer, he wrongfully converted the neighbor's property. Ben's actions suggest strongly that he acted with the requisite intent to permanently deprive the neighbor of the print.

Point Three (30%)

The art dealer probably should be charged with receiving stolen property because the surrounding circumstances suggest that she had the requisite knowledge that the print was stolen.

Receiving stolen property typically has two elements: (1) the actus reus of the receipt of stolen property and (2) the simultaneous mens rea of knowledge that the property was stolen. Most jurisdictions include the further requirement that the defendant intend to deprive the owner of her property. LaFave, *supra*, § 20.2. "Stolen property" typically includes property unlawfully obtained using larceny, embezzlement, or false pretenses, because "it is inappropriate to make the liability of the receiver turn on the method by which the original thief acquired the property." *See id.* at n. 57 (quoting Model Penal Code § 223.6, comment at 241).

Here, the facts support charging the art dealer with receiving stolen property. The art dealer "received" the print. Assuming that Ben embezzled the print, *see* Point Two(b), it would constitute stolen property.

The central question is therefore whether the facts establish that the art dealer had the requisite mens rea of knowledge that the print was stolen. Normally, a person is not guilty of receiving stolen property unless the person knew it was stolen “at the moment of receiving it.” *State v. Caveness*, 78 N.C. 484, 491 (1878); subsequent discovery that property is stolen is not sufficient. *But see State v. Post*, 286 N.W.2d 195, 202–03 (Iowa 1979) (subsequent knowledge is enough when crime is defined not as “receiving” stolen property but as “exercising control over” stolen property).

Some jurisdictions require proof of a defendant’s actual subjective knowledge that the property was stolen. *See Sonnier v. State*, 849 S.W.2d 828 (Tex. App. 1992). In those jurisdictions, evidence that a reasonable person would have known that the property was stolen will not suffice. *See Gibson v. State*, 643 N.E.2d 885 (Ind. 1994).

Other jurisdictions follow the modern view in which mens rea can be inferred from all surrounding circumstances. *See LaFave, supra*, § 20.2, n. 71 (citing *United States v. Prazak*, 623 F.2d 152 (10th Cir. 1980) (noting that a low price can support the inference that the purchaser knew the property was stolen); *United States v. Werner*, 160 F.2d 438 (2d Cir. 1947) (same); *State v. Butler*, 450 P.2d 128 (Ariz. Ct. App. 1969) (same); *State v. Chester*, 707 So. 2d 973 (La. 1997) (same); *Russell v. State*, 583 P.2d 690, 699 (Wyo. 1978) (thieves “must rid themselves of stolen property as quickly as possible, and willingness to sell at a grossly reduced price betrays or should betray such a predicament”).)

The art dealer probably should be charged with receiving stolen property. Under the modern view, or even in a jurisdiction that requires proof of subjective knowledge, the art dealer’s mens rea of knowledge can be inferred from (1) the low price; (2) Ben’s statement to the art dealer: “I can sell this print to you at such a good price only because I shouldn’t have it at all”; (3) the art dealer’s failure to investigate the provenance of the print; (4) the fact that the art dealer contacted, on the same day she acquired the print, a foreign art collector famously uninterested in exploring the ownership history of his acquisitions; and (5) the sale of the print by the art dealer to the collector for 10 times what she had paid for it. Given these circumstances, the art dealer likely had knowledge that the print was stolen.

July 2019
MEE Questions
and Analyses

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the February 2019 MEE. (In the actual test, the questions are simply numbered rather than being identified by area of law.) The instructions for the test appear on page iii.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, identified by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Civil Procedure question on the February 2019 MEE tested the following areas from the Civil Procedure outline: I.A. Jurisdiction and venue—Federal subject matter jurisdiction (federal question, diversity, supplemental, and removal); and B. Personal jurisdiction.

For more information about the MEE, including subject matter outlines, visit the NCBE website at www.ncbex.org.

Description of the MEE

The MEE consists of six 30-minute questions and is a component of the Uniform Bar Examination (UBE). It is administered by user jurisdictions as part of the bar examination on the Tuesday before the last Wednesday in February and July of each year. Areas of law that may be covered on the MEE include the following: Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Civil Procedure, Conflict of Laws, Constitutional Law, Contracts (including Article 2 [Sales] of the Uniform Commercial Code), Criminal Law and Procedure, Evidence, Family Law, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Article 9 (Secured Transactions) of the Uniform Commercial Code. Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusions. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Examinees testing in UBE jurisdictions must answer questions according to generally accepted fundamental legal principles. Examinees in non-UBE jurisdictions should answer according to generally accepted fundamental legal principles unless your testing jurisdiction has instructed you to answer according to local case or statutory law.

July 2019 MEE Questions

Decedents' Estates/Conflict of Laws

Criminal Law & Procedure

Corporations & LLCs

Contracts

Family Law

Civil Procedure/Constitutional Law

JULY 2019 MEE

QUESTION 1—DECEDENTS' ESTATES / CONFLICT OF LAWS

Testator's handwritten and signed will provided, in its entirety,

I am extremely afraid of flying, but I have to fly to City for an urgent engagement. Given that I might die on the trip to City, I write to convey my wish that my entire estate be distributed, in equal shares, to my son John and his delightful wife of many years if anything should happen to me.

January 4, 2010

Testator

When Testator wrote the will, he was domiciled in State A, and his son John was married to Martha, whom he had married in 2003. Testator had known Martha and her parents for many years, and Testator had introduced Martha to John. At the time John and Martha married, Martha was a widow with two children, ages five and six. Following their wedding, John and Martha raised Martha's children together, although John never adopted them.

Two years ago, Martha was killed in an automobile accident.

Six months ago, John married Nancy.

Four months ago, Testator died while domiciled in State B. All of his assets were in State B. The handwritten will of January 4, 2010, was found in Testator's bedside table. Testator was survived by his sons, John and Robert, and John's wife Nancy. Testator was also survived by Martha's two children, who have continued to live in John's home since Martha's death.

State A does not recognize holographic wills. State B, on the other hand, recognizes "wills in a testator's handwriting so long as the will is dated and subscribed by the testator."

Statutes in both State A and State B provide that "if a beneficiary under a will predeceases the testator, the deceased beneficiary's surviving issue take the share the deceased beneficiary would have taken unless the will expressly provides otherwise."

How should Testator's estate be distributed? Explain.

JULY 2019 MEE

QUESTION 2—CRIMINAL LAW & PROCEDURE

On February 1, a woman began serving a 60-day sentence in the county jail for operating a motor vehicle under the influence of alcohol. On February 4, a detective from the county sheriff's department took the woman from her cell to an interrogation room in the jail building. He informed her that she was a suspect in a homicide investigation and that he wanted to ask her some questions. The detective then read the woman the state's standard Miranda warnings:

You have the right to remain silent. Anything you say can be used against you in court.
You have the right to an attorney. If you cannot afford an attorney, one will be appointed for you. If you decide that you wish to speak with us, you may change your mind and stop the questioning at any time. You may also ask for a lawyer at any time.

The detective asked the woman if she understood these rights. When she replied, "Yes, and I want a lawyer," questioning ceased immediately, and she was returned to her cell.

On March 15, the detective removed the woman from her cell and took her back to the same interrogation room. The detective told her that he wanted to ask her questions about the homicide because he had new information about her involvement. The detective read her the same Miranda warnings he had read on February 4 and asked her whether she understood her rights. She said, "Yes."

The woman then asked the detective, "If I ask you to get me a lawyer, how long until one gets here?" The detective replied as follows:

We have no way of getting you a lawyer immediately, but one will be appointed for you, if you wish, if and when you go to court. We don't know when that will happen. If you wish to answer questions now without a lawyer present, you have the right to stop answering questions at any time. You also have the right to stop answering questions until a lawyer is present.

The detective's statement accurately characterized the procedure for appointment of counsel. The woman then said, "I might need a lawyer." The detective responded, "That's your call, ma'am."

After a few minutes of silence, the woman took a Miranda waiver form from the detective and checked the boxes indicating that the rights had been read to her, that she understood them, and that she wished to waive her rights and answer questions. She then signed the form. After the detective began to question her, she confessed to the homicide.

The woman was charged with murder in state court. Her lawyer filed a motion to suppress the woman's March 15 statements to the detective, alleging three violations of her Miranda rights by the detective:

- (1) Interrogating the woman on March 15 after she had invoked her Miranda right to counsel on February 4.

(2) Incorrectly conveying to the woman her Miranda right to counsel by the statements he made on March 15.

(3) Interrogating the woman on March 15 after she had invoked her Miranda right to counsel on March 15.

This state affords a criminal defendant no greater rights than those mandated by the U.S. Constitution.

After an evidentiary hearing, the trial court denied the motion to suppress on all three grounds raised by defense counsel.

Did the court err? Explain.

JULY 2019 MEE

QUESTION 3—CORPORATIONS & LLCs

Parent Inc., a company in the renewable energy business, has several subsidiaries. In all cases, Parent maintains control of its subsidiaries by selecting the members of each subsidiary's board of directors, most of whom also serve as officers and employees of Parent.

One of the subsidiaries, HomeSolar Inc. (incorporated in a jurisdiction that has adopted a version of the Model Business Corporation Act), was acquired three years ago by Parent. Parent owns 80% of HomeSolar's voting shares, with the remaining shares publicly traded on a national stock exchange. HomeSolar manufactures and sells products exclusively for the residential solar power market.

Another subsidiary, IndustrialSolar Inc., is wholly owned by Parent and manufactures products exclusively for the industrial solar power market.

A shareholder of HomeSolar, after making a proper demand on the board to which the board failed to timely respond, brought a derivative suit against Parent, as the controlling shareholder of HomeSolar, making the following allegations:

(1) HomeSolar has not paid dividends since being acquired by Parent three years ago. In SEC filings, HomeSolar has explained that its no-dividend policy provides funds for its research and development budget as it seeks to develop new products for the residential solar power market in which it operates. Nonetheless, HomeSolar has more than adequate earnings and was obligated to pay dividends to its shareholders.

(2) Since acquiring HomeSolar, Parent has caused HomeSolar to purchase the "rare earth" minerals necessary for the manufacture of its residential solar panels from SolarMaterials Corp., a wholly owned subsidiary of Parent. SolarMaterials was created for the purpose of acquiring such minerals and reselling them to the various renewable energy subsidiaries of the Parent group. The long-term contract under which HomeSolar purchases rare earth minerals from SolarMaterials, however, sets prices significantly higher than the current market prices under similar long-term contracts for such minerals.

(3) After Parent learned about a large government grant to develop industrial-scale solar projects, Parent caused IndustrialSolar to apply for and secure this grant, denying HomeSolar the opportunity to obtain this grant.

1. Did Parent breach any duties to HomeSolar with respect to HomeSolar's no-dividend policy? Explain.
2. Did Parent breach any duties to HomeSolar with respect to HomeSolar's contract with SolarMaterials for the purchase of rare earth minerals? Explain.
3. Did Parent breach any duties to HomeSolar by denying HomeSolar the opportunity to apply for the government grant? Explain.

JULY 2019 MEE
QUESTION 4—CONTRACTS

On March 1, a contractor and an owner of movie theaters signed an agreement providing that, no later than August 15, the contractor would install seats in the owner's new movie theater. The agreed-upon price was \$100,000, which was less than the \$150,000 that other similar contractors would charge for the same work. The agreement required that the owner pay the contractor half the price at the time the work commenced and the other half at completion. The contractor was willing to do the work for less money than its competitors because the contractor was new to the area and hoped to build up a positive reputation.

The agreement further provided that the contractor would start work no later than July 1. On July 1, before beginning the agreed-upon work, the contractor informed the owner that it would not perform its obligations under the agreement because it had obtained a more lucrative installation contract elsewhere. At that point, no payments had been made to the contractor.

The installation of the seats was the last step necessary for the theater to open to the public. The owner, which had anticipated that the contractor would install the seats by the August 15 deadline, had planned and widely promoted a film festival for September 1–10 to celebrate the opening of the new movie theater.

Immediately after learning that the contractor would not install the seats, the owner began to look for a substitute contractor. Despite diligent efforts, the owner could not find a contractor that would agree to install the seats by August 15. Eventually, after an extensive search, the owner found a substitute contractor that agreed to install the seats for \$150,000 by September 15. No other contractor could be found who would agree to install the seats at a lower price or before September 15.

Installation of the seats was completed on September 15, the substitute contractor was paid \$150,000, and the theater opened a few days later. Because the theater had no seats at the time of the film festival scheduled for September 1–10, the owner canceled the festival.

The owner sued the original contractor for breach of contract, and the parties agreed to a non-jury trial. The judge has concluded that the contractor's actions with respect to the seat-installation agreement constituted a breach of contract by the contractor. In addition, the judge has made the following findings of fact:

- The contractor was unaware that the owner was planning to hold a film festival when it entered into the contract.
- The owner would have made a profit of \$35,000 if the seats had been installed in the new movie theater and the film festival had been presented there as scheduled on September 1–10.
- The owner could have relocated the film festival to a nearby college auditorium that was available September 1–10 and, if this had occurred, the owner would have made a profit of \$25,000.

1. Do the damages recoverable by the owner include \$50,000 for the amount paid to the substitute contractor above the \$100,000 price to be paid to the original contractor under the contract? Explain.
2. May the owner recover for lost profits resulting from the cancellation of the film festival? Explain.
3. Assuming that the owner is entitled to recover for lost profits resulting from the cancellation of the film festival, how much should the owner recover? Explain.

JULY 2019 MEE
QUESTION 5—FAMILY LAW

Twelve years ago, Wendy and Frank were married in State A. One year later, their daughter, Danielle, was born in State A. The couple and their daughter have continued to live in State A.

One year ago, Frank lost his job as a steelworker after suffering a serious back injury. Frank's doctor has said that he will not be able to return to work.

One month ago, Frank filed an action against Wendy seeking spousal support. Frank filed the action after Wendy, a commercial airline pilot whose work frequently necessitates her absence from home, stopped depositing her wages into the couple's joint bank account and refused to pay household bills. Frank's unemployment insurance is inadequate to pay all the household bills.

Danielle's school recently sent her parents a note indicating that Danielle will not be allowed to enroll in school next year unless the parents provide proof of her vaccination. Frank, based on his personal, nonreligious beliefs, has consistently refused to allow Danielle to receive any vaccinations. Danielle does not satisfy the requirements for a medical exemption. State A has amended its mandatory vaccination law by eliminating all nonmedical exemptions based on "personal beliefs." As amended, the law requires, as a precondition to a child's enrollment in any public school, that "the child's parent or guardian must provide proof that the child has received all vaccinations mandated by the State Department of Health." Frank has brought an action challenging the State A vaccination law under the U.S. Constitution as a violation of his parental rights.

Two weeks ago, Danielle, age 11, with her parents' permission, went to visit her aunt in State B. One week into the visit, the aunt called Frank and Wendy and told them that Danielle did not want to return to her parents' home because "Mom is always traveling, Dad is really depressed since his back injury, and I just can't stand living there anymore." The aunt told Frank and Wendy that "I can't in good conscience send her home, so I'm immediately going to court to seek legal custody."

1. May Frank obtain spousal support from Wendy? Explain.
2. Will Frank's constitutional challenge prevail? Explain.
3. In what state must the aunt file a custody petition? Explain.
4. Is the court likely to grant legal custody of Danielle to her aunt? Explain.

JULY 2019 MEE

QUESTION 6—CIVIL PROCEDURE / CONSTITUTIONAL LAW

Trident Healthcare Inc., incorporated in State X, owns and operates hospitals and clinics in States X, Y, and Z. Medical information for all of Trident’s current and former patients is stored on computer equipment housed at Trident’s corporate headquarters in State X.

Last December, unknown persons hacked into Trident’s computer system and obtained the personal medical information of at least 30,000 Trident patients, including 5,000 patients living in State X, 10,000 patients living in State Y, and 15,000 patients living in State Z. However, there is no evidence that the thieves have used any of this medical information.

The State X Privacy Protection Act imposes an absolute duty on health-care providers, including companies like Trident, to keep patient medical information private. The legislature concluded that the “invasion of privacy” resulting from data breaches causes significant harm to the individuals involved. Thus, the law allows any person whose private medical information is obtained by an unauthorized third party in any manner to recover actual damages from the health-care provider. Further, because such damages are sometimes difficult to quantify, the state law provides that an individual is entitled to a minimum statutory (nominal) damages award of \$500 to compensate for this “invasion of privacy.” This state law is not preempted by any federal law.

A man, who is a citizen of State X and whose medical records were stored in the Trident computers, has brought a class action in the federal district court of State X against Trident on behalf of himself and all the persons whose health-care information was taken during the hacking of Trident’s computer system. The man is represented by counsel with extensive experience in class actions of this type. The complaint is limited to claims arising out of the hacking of medical information. It seeks no actual damages but does seek statutory damages on behalf of all members of the class pursuant to the State X statute. The complaint alleges the facts detailed above and alleges that the court has jurisdiction based on diversity, pursuant to 28 U.S.C. § 1332. The complaint also alleges that most if not all of Trident’s patients are U.S. citizens who are domiciled in the states where they receive their health care.

State X’s legislatively adopted Civil Practice Rules provide that “if any statute or law of this state allows for an award of statutory or nominal damages, recovery of such damages may be sought in an individual action but not in a class action.”

Trident has moved to dismiss the man’s class action brought in federal district court, arguing that (i) the court lacks subject-matter jurisdiction over the state-law claim raised by the class action, (ii) the action fails to allege a claim upon which relief can be granted because of the state law barring class actions to recover statutory damages, and (iii) the man does not have standing to bring a statutory damages claim in federal court.

With respect to each of these arguments, how should the court rule? Explain.

July 2019 MEE Analyses

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JULY 2019 MEE

ANALYSIS 1—DECEDENTS' ESTATES / CONFLICT OF LAWS

This July 2019 analysis for the MEE was provided to bar examiners to assist in grading the examination. It addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses were expected to be. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Does the law of State A or State B determine whether Testator's holographic will is valid?
- (2) Is Testator's holographic will valid under the law of State B?
- (3) Was Testator's will contingent on his dying during his trip to City?
- (4) Was Martha or Nancy the intended beneficiary of Testator's bequest to John's "delightful wife of many years"?
- (5) Assuming that Martha is the intended beneficiary of the bequest to John's wife, are her children entitled to take Martha's share under the State B anti-lapse statute?
- (6) Assuming the will is valid, is Robert entitled to any share of the Testator's estate?

DISCUSSION

Summary

The law of Testator's domicile at death (here, State B) determines the validity of his will. Thus, Testator's will is valid because it is in Testator's handwriting, it is dated, and it is "subscribed" (i.e., signed by Testator at the end). Testator's will was not contingent on his dying while flying to City because the evidence shows that the text of the will reflects Testator's motive for writing a will rather than stating a condition precedent to its operation. A will is typically construed as of a testator's death; here, Nancy was John's wife at Testator's death. But Testator's use of the phrase "delightful wife of many years," plus the other facts, strongly suggests that his intention was to benefit a specific individual, namely Martha. Thus, a court is likely to find that Martha was the intended beneficiary of Testator's bequest to "[John's] delightful wife of many years." Under State B's broad anti-lapse statute, Martha's children would take Martha's share.

Thus, Testator's estate will be distributed according to the will as follows: one half to his son John and the other half in equal shares to Martha's two children. Neither Testator's son Robert nor John's wife Nancy will take anything.

Nevertheless, if the will is valid, Robert could be entitled to a share of the estate if he was born after the will was signed in 2010. No facts tell us when he was born, but from the surrounding facts it appears most likely he was living in 2010.

Point One (10%)

The law of a testator's domicile at the time of the testator's death determines the validity of the testator's will. Thus, State B's law controls the validity of Testator's will.

At common law, the validity of a testator's will was determined under the law of the state where the testator was domiciled at the time of his death. *See* Restatement (Second) of Conflict of Laws § 314; *In re Barrie's Estate*, 35 N.W.2d 658 (Iowa 1949). Thus, under the common law, State B law controls the validity of Testator's will.

Under the Uniform Probate Code (UPC), a will is valid if it complies either with the law of the state in which it was executed or with the law of the place where the testator was domiciled when he signed his will or when he died. Unif. Probate Code § 2-506. Many non-UPC states have similar statutes. *See, e.g.*, Iowa Code § 633.283. Testator's will is valid under this statutory approach because it was valid under the law of State B, the state of Testator's domicile at death.

[NOTE: The following MEE jurisdictions have enacted the Uniform Probate Code: Arizona, Colorado, Hawaii, Idaho, Montana, Nebraska, New Mexico, North Dakota, South Dakota, Utah, and Wisconsin.]

Point Two (10%)

Testator's will was validly executed because it was in Testator's handwriting, it was dated, and it was subscribed by Testator.

State B law provides that a will is valid if it is "in a testator's handwriting so long as the will is dated and subscribed by the testator." Courts have held that when a statute requires a will to be subscribed, the testator's signature must appear at the end of the will. *See Matter of Estate of Rowell*, 585 So. 2d 731 (Miss. 1991); *Matter of Estate of Reed*, 625 P.2d 447 (Kan. 1981). *See also Matter of Estate of Wedeberg*, 589 N.E.2d 1000 (Ill. App. 1992) (will not "signed" when testator's name appeared at the top of the will).

Here, Testator's will met the statutory requirements of State B: the will was in Testator's handwriting, it was dated, and it was signed by Testator at the end.

Point Three (15%)

Most likely, Testator's will was not contingent on his death during travel to City because the facts support the conclusion that Testator's statement described his motive for writing the will rather than a condition to its operation.

In determining whether a will is conditional or contingent, "[a] court must first determine 'whether the happening of the possibility referred to is a condition . . . to the operation of the will, or whether the possibility of the happening was only a statement of the motive or

inducement which led to the preparation and execution of the instrument.”” *In re Estate of Franklin*, 2001 WL 896635 (Tenn. Ct. App., Aug. 9, 2001). A number of factors can be considered in resolving this issue, including where the will was kept after the purported condition lapsed, whether there were any other testamentary documents, whether setting aside the will would result in intestacy, and whether effectuating the terms of the document would result in an inequitable distribution. *Id.* See also *Estate of Martin*, 635 N.W.2d 473 (S.D. 2001).

Here, two facts support the conclusion that Testator’s words—“I am extremely afraid of flying, but I have to fly to City for an urgent engagement. Given that I might die on the trip to City, I write to convey my wish that my entire estate be distributed, in equal shares, to my son John and his delightful wife of many years if anything should happen to me.”—merely stated Testator’s motive for executing a will and not a condition precedent that had to occur for the will to be given effect.

First, Testator did not destroy the will after returning from City but kept it in his bedside table until the time of his death many years later.

Second, there are no other known testamentary documents, and if the holographic will were construed as conditional, Testator would die intestate; intestacy would result in a portion of Testator’s estate being distributed to his other son, Robert, a person not mentioned in Testator’s will. This seems inconsistent with Testator’s intentions.

Additionally, it does not seem inequitable to permit Martha’s children to inherit her share of Testator’s estate given that they were being raised by Testator’s son John up to the time of Testator’s death. Testator, who introduced Martha to John and had a long-standing relationship with Martha and her parents, presumably knew the children and knew that his son John was raising them. See Points Four and Five.

Thus, a court will likely find that Testator’s holographic will was not contingent on his dying during his trip to City.

[NOTE: If an examinee were to conclude that the will was conditional, then because the condition did not occur, the will would no longer be valid and Testator would have died intestate. In this case, the estate would pass to Testator’s heirs, John and Robert.]

Point Four (35%)

Because the phrase “delightful wife of many years” is ambiguous, a court will admit extrinsic evidence to determine its meaning, and all relevant evidence suggests that Martha, not Nancy, was the intended beneficiary under Testator’s will.

Testator left his estate in equal shares to his son John and John’s “delightful wife of many years.” Testator did not mention John’s wife by name in the will. Because Martha died and John later married Nancy, it is ambiguous as to which wife Testator referred to in his will.

Wills are generally construed as of the time of the testator’s death. Under this approach, the phrase “delightful wife of many years,” if it were not ambiguous, could be construed in favor of John’s wife at the time of Testator’s death, i.e., Nancy. See William M. McGovern, Jr. &

Sheldon F. Kurtz, Wills, Trusts and Estates § 6.1 (3d ed. 2004). However, in light of the phrase “of many years,” there is clearly an ambiguity in the will in that John and Nancy, in fact, have not been married “for many years,” whereas John and Martha had been.

When a will is ambiguous, courts allow extrinsic evidence to resolve the ambiguity. To resolve ambiguities, the facts and circumstances surrounding the execution of the will may be taken into account. *See id.* As noted above, a court would likely find that the phrase “delightful wife of many years” is ambiguous because Nancy and John had been married for only a few months when Testator died, whereas John and Martha had been married for seven years when the will was executed in 2010. Furthermore, the fact that Testator introduced Martha to John and had a long-standing prior connection to her and her parents suggests that Testator was referring to Martha when he used the phrase “delightful wife of many years” and was not using the word “wife” in a generic sense. Because the evidence suggests that Testator meant Martha specifically when he left a portion of his estate to John’s “delightful wife of many years,” a court is likely to rule that Martha, not Nancy, is the intended beneficiary.

Point Five (20%)

Martha’s children will take Martha’s share of Testator’s estate under the State B anti-lapse statute.

Under the common law, a bequest to a beneficiary who predeceased the testator failed. *See* McGovern & Kurtz, *supra*, § 8.3. All states have abandoned the common law rule by enacting so-called anti-lapse statutes. Anti-lapse statutes, when applicable, typically substitute a deceased beneficiary’s issue as the beneficiaries of the bequest to the deceased beneficiary. The typical anti-lapse statute extends anti-lapse protection only to blood relatives of the testator. *See, e.g.*, Unif. Probate Code § 2-603. State B, however, has a very broad anti-lapse statute, which provides that “if a beneficiary under a will predeceases the testator, the deceased beneficiary’s surviving issue take the share the deceased beneficiary would have taken unless the will expressly provides otherwise.” Under this statute, Martha’s children take the share to which Martha would have been entitled had she survived Testator, assuming that the court finds that Martha is the intended beneficiary. (*See* Point Four.)

[NOTE: One of the most important skills a minimally competent lawyer should have is the ability to read and apply a statute. A purpose of Point Five is to test examinees’ ability to read a statute, and for this purpose, we have given them an uncommon anti-lapse statute.]

Point Six (10%)

Robert could be entitled to an omitted child’ share only if he had been born after Testator’s will was signed in 2010. There are no facts that state when Robert was born.

All states have a statute providing a forced share of an estate for a child who was born after the will was signed but was not provided for in the will. These statutes vary, however, on the size of that omitted child’s share. *See generally* UPC § 2-302.

Robert would qualify for this share if he was born after Testator’s will was signed in 2010. The facts do not provide us with information as to when he was born, so whether he is entitled to that

share is unclear. However, it is more likely than not that Robert was living when Testator signed his will given the other facts in the problem.

[NOTE: An important lawyering skill is knowing when the lawyer needs more facts to answer a legal problem. Here the question asks how Testator's estate should be distributed, and an important fact to know in order to properly answer that question is when Robert was born.]

JULY 2019 MEE
ANALYSIS 2—CRIMINAL LAW & PROCEDURE

This July 2019 analysis for the MEE was provided to bar examiners to assist in grading the examination. It addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses were expected to be. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

Did the detective violate the woman's rights by

- (1) interrogating the woman on March 15 after she had invoked her right to counsel under *Miranda* on February 4;
- (2) incorrectly conveying to the woman her Miranda right to counsel by the statements he made on March 15; or
- (3) interrogating the woman on March 15 after she had invoked her right to counsel under *Miranda* on March 15?

DISCUSSION

Summary

The woman invoked her Miranda right to counsel on February 4 when she said, "I want a lawyer." At that point, the detective was required to cease interrogation or provide an opportunity for the woman to obtain counsel. This restriction on interrogation, however, does not continue in perpetuity.

Here, following the woman's invocation, the detective properly ended the custodial interrogation on February 4. There is no indication that the detective and the woman had any further contacts until March 15. This was sufficient time to terminate the detective's obligation to honor the woman's February 4 invocation of the right to counsel. Therefore, it was not a violation of the woman's Miranda rights for the detective to wait more than a month, repeat the Miranda warnings, obtain a waiver, and engage in custodial interrogation on March 15. The fact that the woman remained in jail from February 4 through March 15 does not mean that she was in "custody" during this time for Miranda purposes.

On March 15, the detective properly read the woman the state's standard Miranda warnings. The detective's subsequent statement describing the procedures for obtaining counsel did not undermine the reasonable conveyance to the woman of her Miranda rights.

On March 15, the woman did not invoke her right to counsel when she said, "I might need a lawyer." This was not a "clear and unequivocal request" for counsel. Faced with an ambiguous

or equivocal statement, the detective was not required to (1) cease questioning the woman or (2) take any further action to determine whether the woman wanted counsel present.

Thus, the court did not err in denying the woman's motion to suppress on any of the grounds raised by the woman's lawyer.

Point One (40%)

The woman's invocation of her Miranda right to counsel on February 4 did not prevent the detective from interrogating her on March 15.

If a suspect clearly and unequivocally invokes her right to counsel after being informed of her Miranda rights, the police must cease the custodial interrogation. *Miranda v. Arizona*, 384 U.S. 436, 474 (1966). After invocation, counsel must be provided before a suspect can be questioned *unless* the suspect (1) initiates contact with law enforcement, (2) is given a fresh set of Miranda warnings, and (3) executes a knowing and intelligent waiver. *Edwards v. Arizona*, 451 U.S. 477, 484–85 (1981). However, in *Maryland v. Shatzer*, 559 U.S. 98 (2010), the Court held that cessation of custodial interrogation for 14 days terminated the *Edwards* requirements. Thus, after 14 days, law enforcement may approach a suspect who has previously invoked the right to counsel and (assuming new Miranda warnings and a valid waiver) reinstate custodial interrogation even without a lawyer present.

Here, assuming that the woman was undergoing custodial interrogation, she invoked her right to counsel and was returned to her cell on February 4, more than five weeks before the detective's March 15 interrogation. Assuming that *Miranda* was fully complied with on March 15 (*see* Point Two), the woman's February 4 invocation of the right to counsel had terminated by March 15.

Finally, this analysis is not affected by the fact that the woman remained in jail from February 4 through March 15. In *Maryland v. Shatzer, supra*, the Court held that there are "vast differences between *Miranda* custody and incarceration pursuant to conviction." The release of a person from interrogation and back into his "normal life" in the general prison population ends the "'inherently compelling pressures' of custodial interrogation. Thus, the lengthy break between the woman's initial invocation of her *Miranda* right to counsel and her interrogation on March 15 terminated the *Edwards* requirement, notwithstanding that she was in jail during that time."

The court properly rejected the defense argument.

[NOTE: Custody is an objective, totality-of-the-circumstances test: whether "a **reasonable person** would have felt he or she was not at liberty to terminate the interrogation and leave." *Howes v. Fields*, 565 U.S. 499, 509 (2012). The Supreme Court has held that "[n]ot all restraints on freedom of movement amount to custody for purposes of *Miranda*." *Id.* More specifically, the Court has found that "when a person who is already serving a term of imprisonment is questioned, . . . the ordinary restrictions of prison life, while no doubt unpleasant, are expected and familiar and thus do not involve the same 'inherently compelling pressures' that are often present when a suspect is yanked from familiar surroundings in the outside world and subjected to interrogation in a police station." *Id.* at 511. Thus, the woman's ongoing incarceration from February 4 to March 15 should be treated as a break in her custodial interrogation.]

Point Two (30%)

On March 15, the detective properly informed the woman of her right to counsel.

Miranda v. Arizona requires that law enforcement inform a suspect that she has the “right to the presence of an attorney and that if [she] cannot afford an attorney one will be appointed for [her] prior to any questioning if [she] so desires.” 384 U.S. at 479. *Miranda* does not require perfect adherence to the suggested language in the decision itself. *See* 384 U.S. at 476. *See also California v. Prysock*, 453 U.S. 355, 359 (1981) (*per curiam*); *Duckworth v. Eagan*, 492 U.S. 195, 202–03 (1989). For example, in *Florida v. Powell*, 559 U.S. 50 (2010), the Court rejected the defense argument that informing a suspect of “the right to talk to a lawyer before answering any of [their] questions” and “the right to use any of [his] rights at any time [he] want[ed] during th[e] interview,” but failing to inform the suspect of the right to counsel during interrogation violated *Miranda*. 559 U.S. at 62. *Miranda* warnings need not be “the clearest possible formulation,” *id.* at 63; instead they must “reasonably convey to a suspect his rights as required by *Miranda*.” *Id.* at 62; *Duckworth*, 492 U.S. at 203.

Here, the state’s standard *Miranda* warnings read to the woman on both February 4 and March 15 “reasonably conveyed” her *Miranda* rights.

However, the question remains: did the detective undermine or alter the *Miranda* warnings on March 15 when he told the woman:

We have no way of getting you a lawyer immediately, but one will be appointed for you, if you wish, if and when you go to court. We don’t know when that will happen. If you wish to answer questions now without a lawyer present, you have the right to stop answering questions at any time. You also have the right to stop answering questions until a lawyer is present.

Under the relevant constitutional standard, it is clear that the detective did nothing more than inform the woman of the procedure for appointment of counsel in the state. Taken in conjunction with the detective’s March 15 reading of the state’s standard *Miranda* warnings, this statement did not undermine the reasonable conveyance of *Miranda* rights. Thus, the court did not err in rejecting the argument that the woman’s statements should be excluded on this basis.

[NOTE: Some examinees might argue that the woman was not in custody when she was questioned on March 15 (or on February 4) and therefore was not entitled to any *Miranda* warnings at all. In *Howes v. Fields*, *supra*, the Supreme Court held that an incarcerated person who was questioned about a crime unrelated to his incarceration was not “in custody” for *Miranda* purposes when the circumstances of the questioning were not coercive. In that case, the prisoner was told twice that he could return to his cell whenever he wanted; he was not restrained or threatened during interrogation; and the other circumstances were such that, according to the Court, he would have felt free to leave the interrogation. Hence, the Court concluded, *Miranda* warnings were unnecessary.

There are no facts in this problem from which one could determine whether the March 15 interrogation was custodial and whether *Miranda* warnings were necessary. Nonetheless, the warnings were given and the problem asks whether they were correctly conveyed. An examinee

who notes the possibility that it was not a custodial interrogation and that *Miranda* warnings were not required should nonetheless consider whether they were given adequately.”]

Point Three (30%)

On March 15, the woman did not invoke her right to counsel when she said, “I might need a lawyer” because this was not a “clear and unequivocal request” for counsel.

The mere mention of the word “lawyer” does not constitute an invocation of the *Miranda* right to counsel requiring cessation of questioning under *Edwards*. Invocation of the right to counsel “requires, at a minimum, some statement that can reasonably be construed to be an expression of a desire for the assistance of an attorney.” *Davis v. United States*, 512 U.S. 452, 459 (1994), citing *McNeil v. Wisconsin*, 501 U.S. 171, 178 (1991). To “unambiguously request counsel,” a suspect must “articulate [her] desire to have counsel present sufficiently clearly that a reasonable police officer in the circumstances would understand the statement to be a request for an attorney.” *Davis*, 512 U.S. at 459. In contrast, where a suspect’s request is ambiguous or equivocal, questioning need not cease. An ambiguous request is one that “a reasonable officer in light of the circumstances would have understood only that the suspect *might* be invoking the right to counsel.” *Id.* (emphasis in original). When a suspect makes an ambiguous or equivocal request for counsel, officers are not required to attempt to assess “the likelihood that a suspect would wish counsel to be present.” *Id.*

The woman’s statement, “I might need a lawyer,” on its face, is not an unambiguous invocation of the right to counsel. In addition, the detective’s response—“That’s your call, ma’am”—and the fact that the woman remained silent before signing the waiver form suggests that, at the time of the woman’s statement, she was not asking for a lawyer to be present but was still weighing her options. Under these circumstances, the woman did not invoke her right to counsel, and the court properly rejected the defense argument that the woman’s statements to the detective should be excluded.

[NOTE: Discussion of the woman’s Sixth Amendment right to counsel is not relevant to the problem. The right to counsel under *Miranda* is a branch of the Fifth Amendment’s “privilege against compelled self-incrimination” law. By contrast, “the Sixth Amendment right does not attach until adversary judicial criminal proceedings commence, such as when a suspect is arraigned or indicted.” Joshua Dressler, Alan C. Michaels, *Criminal Procedure* Vol. 1: Investigation § 21.03 (6th ed. 2013).]

JULY 2019 MEE

ANALYSIS 3—CORPORATIONS & LLCs

This July 2019 analysis for the MEE was provided to bar examiners to assist in grading the examination. It addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses were expected to be. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Did Parent breach any duties to HomeSolar with respect to HomeSolar's no-dividend policy?
- (2) Did Parent breach any duties to HomeSolar with respect to HomeSolar's contract with SolarMaterials for the purchase of rare earth minerals?
- (3) Did Parent breach any duties to HomeSolar by denying HomeSolar the opportunity to apply for the government grant?

DISCUSSION

Summary

Controlling shareholders (including parent corporations) generally owe fiduciary duties to their partially owned subsidiaries and may not use their power to benefit themselves at the expense of the subsidiary and its minority shareholders. Here, Parent likely did not violate its fiduciary duties of loyalty and care by causing its subsidiary, HomeSolar, to adopt a no-dividend policy, given that the policy applied equally to all shareholders of HomeSolar and had the purpose of ensuring funding for HomeSolar's research and development budget.

Business dealings by parent corporations with partially owned subsidiaries can be set aside as self-dealing transactions unless approved by a majority of disinterested directors or shareholders or unless, in the absence of such approval, they are judicially determined to be fair. Here, Parent breached its fiduciary duty of loyalty by causing HomeSolar to enter into a long-term contract with SolarMaterials, a wholly owned subsidiary of Parent, at prices significantly higher than current market prices under similar long-term contracts for the minerals. Because Parent selected the entire board of HomeSolar, there are no disinterested directors to approve the transaction. Furthermore, there are no facts to suggest that the minority shareholders of HomeSolar approved the transaction. And, because HomeSolar paid higher than market prices, the transaction cannot satisfy the fairness test. The presumption of the business judgment rule does not apply to this conflict-of-interest transaction. There are no facts indicating that Parent or the directors of HomeSolar breached a duty of care.

Parent did not violate its fiduciary duties by allocating the opportunity to apply for the government grant to its wholly owned subsidiary IndustrialSolar and not to its partially owned

subsidiary HomeSolar, given that the grant was for development of industrial solar projects and thus beyond the existing residential business of HomeSolar.

[NOTE: The question involves a corporation incorporated in an MBCA jurisdiction, thus requiring examinees to consider the relevant provisions of the MBCA. The MBCA, however, does not specify the fiduciary duties of controlling shareholders in a publicly traded corporation. Thus, in determining whether Parent breached its duties to HomeSolar and its minority shareholders, the law of the state of incorporation would likely look to general principles of corporate law in a matter of first impression. Given the lack of indication of case law on the point in the jurisdiction of incorporation, an examinee should look to general principles of corporate law, specifically those related to the fiduciary duties of controlling shareholders. General principles of corporate law, including the case law of Delaware, are thus relevant to the analysis of the question.]

Point One (35%)

Parent likely did not violate its fiduciary duties of loyalty and care by causing HomeSolar to institute a no-dividend policy, given that the policy applied equally to all shareholders of HomeSolar and had the purpose of ensuring funding for the company's research and development budget.

The MBCA does not specify the duties of controlling shareholders to a controlled corporation or its minority shareholders. Instead, the duties of controlling shareholders generally arise as a matter of the court's "inherent equity power" to fashion fiduciary duties owed by majority shareholders to minority shareholders. *See* Official Comment, MBCA § 10.01 (stating that actions by majority shareholders "may be reviewable by a court under its inherent equity power to review transactions for good faith and fair dealing to minority shareholders"), *citing McNulty v. W. & J. Sloane*, 54 N.Y.S.2d 253 (Sup. Ct. 1945).

Generally, courts have examined business dealings between a controlling shareholder (such as a parent corporation) and the controlled corporation using a fairness test. *See Sterling v. Mayflower Hotel Corp.*, 93 A.2d 107, 109–110 (Del. 1952). But when the transaction does not involve self-dealing (as is the case with respect to dividends payable to all shareholders of the controlled corporation), then the "business judgment" standard applies. *See Sinclair Oil Corp. v. Levien*, 280 A.2d 717 (Del. 1971); *see also Wolfensohn v. Madison Fund, Inc.*, 253 A.2d 72, 76 (Del. 1969) (holding that overreaching must be shown in a suit against a parent of a subsidiary). That is, the fairness test applies to parent-subsidiary dealings only where the "parent . . . causes the subsidiary to act in such a way that the parent receives something from the subsidiary to the exclusion of, and detriment to, the minority stockholders . . ." *Sinclair*, 280 A.2d at 720; *see generally* Lewis H. Lazarus & Brett M. McCartney, *Standards of Review in Conflict Transactions on Motions to Dismiss: Lessons Learned in the Past Decade*, 36 Del. J. Corp. L. 967, 998–1003 (2011) (concluding that the business judgment rule is standard under Delaware law unless rebutted).

Here, the shareholder challenges the no-dividend policy of HomeSolar instituted by Parent. The no-dividend policy affects the shareholder and all other HomeSolar shareholders (including

Parent) equally and thus is not a self-dealing transaction in which Parent receives something to the exclusion of other shareholders.

Parent did not breach any duty of care. Under a “business judgment” standard, it is sufficient if Parent can offer a rational business justification for the no-dividend policy, which it has by explaining that the no-dividend policy is meant to provide funds for HomeSolar’s research and development budget as the subsidiary seeks to develop new products for the residential solar power market. *See* Note on Business Judgment Rule, MBCA § 8.31 (decisions subject to the business judgment standard “will not be disturbed (by a court substituting its own notions of what is or is not sound business judgment) if they can be attributed to any rational business purpose”), *citing Sinclair*, 280 A.2d at 720; *see also Auerbach v. Bennett*, 393 N.E.2d 994, 1000 (N.Y. 1979) (business judgment rule “bars judicial inquiry into actions of corporate directors taken in good faith and in the exercise of honest judgment in the lawful and legitimate furtherance of corporate purposes”).

[NOTE: An examinee who seeks to analyze the question of Parent’s duties to the complaining shareholder under the “oppression” standard created by the involuntary dissolution provisions of the MBCA should not receive credit. *See* MBCA § 14.30 (a) (calling for the court to order involuntary dissolution for significant abuse of power by controlling shareholders). For one thing, the question asks whether Parent breached any duties to HomeSolar, not whether the court should order involuntary dissolution. For another, an “oppression” claim is “appropriate only for shareholders of corporations that are not widely held.” *See* Official Comment, MBCA § 14.30 (pointing out that shareholders in a publicly traded corporation, such as one whose shares are listed on the New York Stock Exchange, “will normally have the ability to sell their shares if they are dissatisfied with current management”).]

Point Two (40%)

Given that Parent caused HomeSolar to enter into a contract for the purchase of minerals with Parent’s wholly owned subsidiary SolarMaterials at significantly higher prices than current market prices under similar long-term contracts for the same minerals, Parent engaged in unfair self-dealing and thus breached its duty of loyalty to HomeSolar. The business judgment rule does not apply to this conflict-of interest transaction.

As described above, business dealings between a parent corporation (or its wholly owned subsidiary) and a partially owned subsidiary can involve self-dealing and a breach of the duty of loyalty when the parent causes the partially owned subsidiary to enter into a transaction that prefers the parent (or its wholly owned subsidiary) at the expense of the partially owned subsidiary and its minority shareholders. This breach cannot be cured here because there are no disinterested directors to approve the transaction, as Parent appointed all the directors of HomeSolar, and there is no evidence that the minority shareholders of the partially owned subsidiary approved the transaction. This means that liability can be avoided only if the transaction is judicially determined to be fair.

Generally, the person seeking to justify a self-dealing transaction has the burden of proving its fairness to the corporation. The MBCA has described “fairness,” in connection with directors’ conflicting-interest transactions, to include not only “the market fairness of the terms of the

deal—whether it is comparable to what might have been obtainable in an arm’s-length transaction—but also . . . whether the transaction was one that was reasonably likely to yield favorable results (or reduce detrimental results)” for the corporation. Official Comment to MBCA § 8.61 (Comment 6, Fair to the Corporation). Thus, contractual dealings by a partially owned subsidiary (here HomeSolar) with a wholly owned subsidiary (here SolarMaterials) in a corporate group must not only be shown to reflect the terms obtainable in comparable market transactions but must also be shown to be beneficial to the partially owned subsidiary. Here, given that the prices set in the contract between HomeSolar and SolarMaterials were significantly higher than current market prices under similar long-term contracts for the same minerals, Parent cannot establish the fairness of the contract. Thus, Parent breached its fiduciary duty of loyalty to HomeSolar.

[NOTE: The business judgment rule does not apply to conflict-of-interest transactions and thus is no defense to a claim that the defendant breached its duty of loyalty, and no credit should be given to an examinee who seeks to apply the business judgment rule in the context of a discussion of the duty of loyalty.]

[NOTE: Some examinees may conclude that the self-dealing transaction in this case is subject to “entire fairness” review, which requires a showing of both “fair price” and “fair dealing.” See *Kahn v. Lynch Commc’n Sys., Inc.*, 638 A.2d 1110, 1117 (Del. 1994) (applying “entire fairness” review to parent-subsidiary merger transaction, in which minority shareholders of the subsidiary are forced out of the corporation). However, it is unclear whether the MBCA would apply this heightened standard to typical intra-group corporate dealings not involving a change in control. See MBCA § 13.40(b)(3) & Official Comment (rejecting the “entire fairness” test of *Kahn* when an interested transaction is approved by both a majority of informed, independent, disinterested directors (or a special board committee) and an informed majority of disinterested shareholders). Thus, an examinee should not receive additional credit for discussing the absence of “fair dealing” in this case where the challenged contract was approved by neither disinterested directors nor disinterested shareholders. Here, the absence of “fair price” is critical to the analysis of this intra-group self-dealing transaction.]

Lastly, there are no facts to indicate that Parent or the directors of HomeSolar breached a duty of care. First, there are no facts indicating that Parent caused the HomeSolar directors to act with a faulty decision-making process. Second, there are no facts indicating that the above-market transaction was “wasteful,” meaning that no reasonable person would have paid those higher prices. There could be any number of reasons why HomeSolar agreed to pay higher prices, and there are no facts indicating that the deliberation processes were faulty.

Point Three (25%)

Parent likely did not violate its fiduciary duties by allocating the opportunity to apply for the government grant to its wholly owned subsidiary IndustrialSolar rather than its partially owned subsidiary HomeSolar, given that the grant was for development of industrial solar projects and thus beyond the residential business of HomeSolar.

The MBCA does not address the duties of controlling shareholders to not usurp corporate opportunities of partially owned corporations. Nonetheless, an official comment to the MBCA explains the corporate opportunity doctrine in connection with the duties of directors:

The corporate opportunity doctrine [applicable to directors] is anchored in a significant body of case law clustering around the core question whether the corporation has a legitimate interest in a business opportunity, either because of the nature of the opportunity or the way in which the opportunity came to the director, of such a nature that the corporation should be afforded prior access to the opportunity before it is pursued (or, to use the case law’s phrase, “usurped”) by a director.

MBCA, Introductory Comment to Subchapter F (Comment 4, Non-Transactional Situations Involving Interest Conflicts – Corporate Opportunity). In a similar vein, the American Law Institute (ALI) Principles of Corporate Governance define a corporate opportunity, for purposes of directors and senior executives, generally as a business opportunity where either “the person offering the opportunity expects it to be offered to the corporation,” the opportunity “would be of interest to the corporation,” or the opportunity is “closely related to a business in which the corporation is engaged or expects to engage.” ALI Principles of Corporate Governance § 505(b); *see also Northeast Harbor Golf Club, Inc. v. Harris*, 661 A.2d 1146 (Me. 1995) (adopting the ALI Principles approach to corporate opportunities as consistent with the MBCA).

For business opportunities allocated within a corporate group, courts have accepted that the parent should have some leeway in allocating business opportunities within the group. *See Sinclair, supra*; *see also In re Synthes, Inc. S’holder Litig.*, 50 A.3d 1022, 1040–41 (Del. Ch. 2012) (“the duty to put the best interest of [a partially owned subsidiary] above any interest . . . does not mean that the controller has to subrogate his own interests so that the minority stockholders can get the deal that they want”) (internal quotations omitted).

Here, although HomeSolar might have wanted to receive the government grant, there is no indication that HomeSolar was capable of using the grant to pursue industrial solar projects; instead, the facts indicate that HomeSolar’s line of business is developing residential solar projects. Finally, it is unclear that the government would have given the grant to HomeSolar, as opposed to the wholly owned subsidiary IndustrialSolar.

JULY 2019 MEE
ANALYSIS 4—CONTRACTS

This July 2019 analysis for the MEE was provided to bar examiners to assist in grading the examination. It addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses were expected to be. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Do the damages recoverable by the owner from the original contractor include \$50,000 for the additional amount paid to the substitute contractor beyond the \$100,000 price to be paid to the original contractor under the contract?
- (2)(a) Can the owner recover from the original contractor as consequential damages lost profits from the canceled film festival even though the contractor was unaware of the owner's plan to hold the film festival?
- (2)(b) Assuming that the owner can recover consequential damages resulting from the canceled film festival, does the owner's failure to reduce those damages by relocating the film festival rather than canceling it result in lower consequential damages?

DISCUSSION

Summary

Damages for breach of contract are typically based on the aggrieved party's expectation interest—how much worse off the aggrieved party is than if the breaching party had fulfilled its obligation under the contract. In this case, the owner would have had to pay the contractor \$100,000 to install the seats but, because the contractor breached its contract, had to pay the substitute contractor \$150,000 for that task. Thus, the owner is \$50,000 worse off than it would have been if the contractor had satisfied its obligation. As a result, the owner's "direct damages" are \$50,000.

Whether the owner is also entitled to consequential damages arising from the cancellation of the film festival depends on whether the original contractor had reason to foresee the cancellation as a probable result of its breach. Here, the original contractor did not know about the scheduled film festival, and there is no indication in the facts that the original contractor had reason to know of it. Thus, it is unlikely that the owner will be able to recover damages arising from the cancellation of the film festival.

Even if the original contractor had reason to know of the owner's plans for the film festival, the owner might not be entitled to recover its \$35,000 in lost profits as consequential damages. If the college auditorium was a reasonable substitute location for the film festival, the owner could have avoided \$25,000 of the \$35,000 in lost profits and thus would be entitled to recover only

the \$10,000 that would have been lost had the film festival been held at the college auditorium. But the college auditorium may not have been a reasonable substitute. An apparent reason for the film festival was to showcase the new theater, and moving the film festival to the college auditorium would not then have been a reasonable substitute, so the fact that the owner did not move the film festival there would not reduce the recovery for lost profits.

Point One (20%)

The owner is entitled to recover expectation damages equal to the difference between the price that the owner paid to the substitute contractor (\$150,000) and the price that the owner would have paid the original contractor (\$100,000). That is, the owner is entitled to recover \$50,000 from the original contractor.

Generally, the party injured by a breach of contract has a right to damages based on the party's expectation interest. Restatement (Second) of Contracts § 347. Such damages are "intended to give him the benefit of his bargain by awarding him a sum of money that will, to the extent possible, put him in as good a position as he would have been in had the contract been performed." *Id.* cmt. a. Here, the contractor promised to install the seats by August 15 for \$100,000 and did not do so. No other contractor could be found who would agree to install the seats by August 15; the substitute contractor, though, agreed to do the installation later for \$150,000. Thus, to put the owner, to the extent possible, in as good a position as it would have been in had the contract been performed (the owner would have paid \$100,000 and the seats would have been installed) requires an award to the owner of \$50,000. This is because use of the substitute contractor resulted in the owner spending \$150,000 for seat installation instead of \$100,000. Thus, the owner is \$50,000 worse off than if the original contractor had performed under the contract, so it will take a payment of \$50,000 to the owner to put it in "as good a position as [it] would have been in had the contract been performed."

Point Two(a) (40%)

It is unlikely that the owner is entitled to recover the loss it suffered as a consequence of the cancellation of the film festival (consequential damages). That loss would be recoverable if the original contractor had reason, at the time the contract was made, to foresee it as a probable result of the breach. Inasmuch as the court has found that the contractor was unaware that the owner was planning to hold a film festival when it entered into the contract, the loss would be recoverable only if the original contractor nonetheless had reason to know of the film festival.

In addition to the expectation damages described in Point One, the owner may seek to recover consequential damages arising from the breach. Restatement (Second) of Contracts § 347(b). However, under the rule announced in the landmark case of *Hadley v. Baxendale*, 9 Exch. 341, 156 Eng. Rep. 145 (1854), as currently applied in almost every state, such damages are not recoverable for loss that the party in breach did not have reason to foresee as a probable result of the breach when the contract was made. Restatement (Second) of Contracts § 351(1). Loss may be foreseeable as a probable result of a breach if it follows from the breach either in the ordinary course of events or as a result of special circumstances beyond the ordinary course of events that the party in breach had reason to know of. *Id.* § 351(2).

Here, it is unlikely that a court would conclude that cancellation of a film festival would follow in the ordinary course of events from breach of a contract to install seats in a movie theater by a stated date. Although the contractor likely would have known that general ticket sales would be lost because of the delayed opening, there is nothing in the facts to indicate that film festivals or similar events are usually scheduled immediately following the construction of a movie theater. It might be argued, however, that the original contractor would have reason to know that the owner of a new theater would promote its opening with some sort of special event that could generate significant revenue. Thus, while it might be argued that the loss from the cancellation of the film festival was foreseeable as following from the breach in the ordinary course of events, these facts offer little to support that argument.

[NOTE: New York does not follow the rule in *Hadley v. Baxendale*. Rather, recovery of consequential damages in New York is limited to liability the defendant fairly may be supposed to have assumed consciously, or to have warranted the plaintiff reasonably to suppose that it assumed, when the contract was made. See *Kenford Co. v. County of Erie* (Kenford II), 537 N.E.2d 176 (N.Y. 1989). This test, derived from the opinion of Justice Holmes in *Globe Ref. Co. v. Landa Cotton Oil Co.*, 190 U.S. 540 (1903), is often referred to as the “tacit agreement” test. See Restatement (Second) of Contracts § 351, Reporter’s Note to comment a.]

Point Two(b) (40%)

Even if the cancellation of the film festival was reasonably foreseeable, it is unclear whether the owner would be entitled to recover the \$35,000 in lost profits resulting from the cancellation. If holding the film festival at the college auditorium was a reasonable substitute for holding it at the new movie theater, the owner will not be able to recover that portion of the loss that could have been averted by holding the film festival at the college auditorium. If, on the other hand, holding the film festival at the college auditorium was not a reasonable substitute because a primary purpose of the film festival was to showcase the new movie theater, the failure of the owner to relocate the film festival will not reduce the owner’s recovery for lost profits.

In addition to foreseeability, consequential damages can be limited for reasons related to “mitigation” or “avoidability.” As a general rule, a party cannot recover damages for loss that the party could have avoided by reasonable efforts. See Restatement (Second) of Contracts § 350, comment b. Once a party has reason to know that performance by the other party will not be forthcoming, the party is expected to take such affirmative steps as are appropriate in the circumstances to avoid loss by making substitute arrangements or otherwise. *Id.* Thus, the amount of loss that the aggrieved party could reasonably have avoided by stopping performance, making substitute arrangements, or otherwise is simply subtracted from the amount that would otherwise have been recoverable as damages. *Id.* Affirmative steps to avoid loss are not required, however, if they would involve undue risk, burden, or humiliation. *Id.* § 350(1).

Here, the facts indicate that the owner could have reduced its loss by putting on the film festival at a nearby college auditorium. Because the owner could have avoided some of the loss by moving the festival, it can be argued that the owner cannot recover for the portion of the loss that could have been avoided that way. In that case, the owner would be entitled to recover only the \$10,000 lost profits that it would have suffered if it had moved the film festival to the college auditorium. But it might also be argued that a purpose of the film festival was to showcase the

new movie theater, in which case moving the festival to another location would not serve this purpose. “Whether an available alternative transaction is a suitable substitute depends on all the circumstances, including the similarity of the performance.” *Id.* § 350 cmt. e. In that case, holding the film festival at the college auditorium would not have been a reasonable substitute for a film festival at the new theater, and the consequential damages recoverable by the owner would not be reduced by the amount that could have been saved by moving the film festival to the college auditorium.

[NOTE: Sometimes the reduction in consequential damages because the aggrieved party did not take affirmative steps to avoid contractual losses is described as a breach of the party’s “duty to mitigate damages.” This terminology is misleading because that party has no duty to avoid loss; rather, contract law simply provides that the aggrieved party cannot recover losses that could reasonably have been avoided.]

JULY 2019 MEE
ANALYSIS 5—FAMILY LAW

This July 2019 analysis for the MEE was provided to bar examiners to assist in grading the examination. It addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses were expected to be. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) May Frank obtain spousal support from Wendy?
- (2) Will Frank’s constitutional challenge prevail?
- (3) In what state must the aunt file a custody petition?
- (4) Is the court likely to grant legal custody of the daughter, Danielle, to her aunt?

DISCUSSION

Summary

Frank may not obtain a spousal support order against his wife, Wendy. In the absence of a contrary statute, courts typically do not order support in the context of an intact, co-residential marriage.

Although parents have a constitutional right to the care, custody, and control of their children, including the right to make most health-care decisions, the state may, pursuant to its police-power authority, mandate vaccination in order to protect public health. Thus, Frank will not succeed in his action to overturn the state vaccination requirement.

Under the UCCJEA and PKPA, applicable in all states, an initial child-custody action must be brought in a child’s “home state,” i.e., the state where she has lived for the preceding six months. Thus, the aunt’s custody petition must be brought in State A.

It is highly unlikely that a court will grant the aunt’s custody petition. In determining child custody, all states today grant a fit legal parent preference over a nonparent, an approach that is almost certainly mandated under *Troxel v. Granville*, 530 U.S. 57 (2000). Although a child’s preference is relevant in a custody contest, Danielle’s desire to live with her aunt should not provide a sufficient basis for an award of custody to the aunt.

Point One (20%)

Because Frank and Wendy are not separated, Frank may not obtain a support order against Wendy.

In all states, marriage establishes a mutual support obligation between spouses. *See* 41 C.J.S. Husband and Wife § 66. However, the spousal support obligation is limited by the common law doctrine of nonintervention, which disallows judicial intervention in an intact family. Although the case law is sparse, courts have relied on the nonintervention principle to deny a support petition when the couple is living together. *See, e.g., McGuire v. McGuire*, 59 N.W.2d 336 (Neb. 1953). Thus, until and unless Frank and Wendy separate, a court will not intervene in their private affairs. The fact that Wendy is frequently absent for work-related reasons does not constitute a separation. There is nothing in the facts to suggest that Wendy has moved or even that she has a second residence.

[NOTE: Were Frank to purchase necessary household items on credit, the merchant who extended credit to him might be able to recover from Wendy the value of the goods furnished under the common law necessities doctrine. The necessities doctrine is generally applicable to food, clothing, shelter, and health care. Here, however, there appears to be no merchant who has furnished goods to Frank on credit. Therefore, any discussion of the doctrine of necessities is inapplicable.]

Point Two (30%)

Although a parent's right to the care, custody, and control of his or her child is constitutionally protected, that right does not provide a basis for overturning a state vaccination mandate.

The Supreme Court of the United States has held that the parental right to the care, custody, and control of a child is constitutionally protected under the 14th Amendment. *See Wisconsin v. Yoder*, 406 U.S. 205 (1972); *Troxel v. Granville*, 530 U.S. 57, 65 (2000) (“[W]e have recognized the fundamental right of parents to make decisions concerning the care, custody, and control of their children.”).

However, parental rights are not absolute. “[T]he power of the parent, even when linked to a free exercise claim, may be subject to limitation . . . if it appears that parental decisions will jeopardize the health or safety of the child, or have a potential for significant social burdens.” *Yoder, supra*, at 233–34. The spread of preventable, contagious illnesses is a “significant social burden.”

Moreover, the Supreme Court has specifically held both that a vaccination mandate is within the state's police power to protect the public health (*Jacobson v. Massachusetts*, 197 U.S. 11 (1905)) and that a state may refuse school admission to a student who fails to receive a vaccination as mandated. *Zucht v. King*, 260 U.S. 174, 176 (1922). Recent challenges to state rules that disallow school attendance by unvaccinated students have thus been summarily dismissed. *See Phillips v. City of New York*, 775 F.3d 538, 542–44 (2d Cir. 2015) (granting summary judgment to City defendants).

Point Three (20%)

Under both the UCCJEA and PKPA, only a child's “home state” may exercise jurisdiction over an initial child-custody petition. Here, because State A is Danielle's home state, only a State A court may hear the aunt's custody petition.

Under the Uniform Child Custody Jurisdiction and Enforcement Act (UCCJEA), which has been adopted in all but one state (Massachusetts), a court may exercise jurisdiction over a petition for child custody *only if* “this State is the home State of the child on the date of the commencement of the proceeding, or was the home State of the child within six months before the commencement of the proceeding and the child is absent from this State but a parent or person acting as a parent continues to live in this State” and no other state’s courts would have jurisdiction under the above standard or other courts having jurisdiction have declined to exercise it. UCCJEA § 201(a)(1). A “home state” is the state in which the child “lived with a parent or a person acting as a parent for at least six consecutive months immediately before the commencement of a child-custody proceeding.” *Id.* § 102(7). The “physical presence of, or personal jurisdiction over, a party or a child is not necessary . . . to make a child-custody determination.” *Id.* at § 201(c).

The federal Parental Kidnapping Prevention Act (PKPA) similarly grants exclusive jurisdiction over a child-custody petition to a child’s “home state.” 28 U.S.C. § 1738A(d). Under the supremacy clause, PKPA takes precedence over any conflicting state law. *See, e.g., Murphy v. Woerner*, 748 P.2d 749 (Alaska 1988).

Here, Danielle has lived in State A continuously since her birth. She has been present at her aunt’s home in State B for only two weeks. The child’s parents both continue to live in State A. Thus, only a State A court may exercise jurisdiction over the aunt’s custody petition.

[NOTE: The UCCJEA “temporary emergency jurisdiction” provision is not relevant here, as it is applicable only when the child has been “abandoned . . . or is threatened with mistreatment or abuse.” UCCJEA § 204. The mother’s traveling does not constitute abandonment, as she has invariably left the child with the child’s father. There is nothing in the facts to support a claim that the father has not continued to act as his child’s guardian.]

Point Four (30%)

It is highly unlikely that the court will grant the aunt’s petition for custody, given the constitutionally based parental preference.

In all states, when a nonparent seeks to obtain a child’s custody from a fit legal parent, the parent is accorded a preference. *See, e.g., People ex rel. Anonymous v. Anonymous*, 530 N.Y.S.2d 613, 615 (App. Div. 1988). Although the strength of the preference varies from one state to the next, in *Troxel v. Granville*, 530 U.S. 57 (2000), the Supreme Court of the United States implied that such a preference is constitutionally mandated. *Troxel* involved a state statute under which “[a]ny person” could petition for visitation rights “at any time” and authorized a court to grant such visitation whenever it concluded that “visitation may serve the best interest of the child.” Because the statute was “breathhtakingly broad” and required the court to give “no special weight at all to [a parent’s] . . . determination of her daughter’s best interests,” a plurality of the Court found that it “contravened the traditional presumption that a fit parent will act in the best interest of his or her child.” 530 U.S. at 67–69.

Here, the aunt might argue that Danielle’s desire to live with her is sufficient to overcome the preference in favor of continued parental custody. And in all states, the views of a child who is

mature enough to form and express a preference are certainly relevant to a custody determination. Indeed, the wishes of an older child are typically given substantial weight. *See* Annotation, *Child's Wishes as Factor in Awarding Custody*, 4 A.L.R.3d 1396 (1965).

However, the child's wishes "are not treated equally in every case":

Sometimes the child's wishes are given controlling effect, while at other times the wishes are disregarded altogether. The circumstances determining what effect, between these two extremes, should be given to a child's wishes in a particular case are, in addition to the comparative effect of objective factors affecting its welfare generally, . . . and in addition to the natural right of the child's parent to have its custody (frequently invoked successfully, at least in the absence of the parent's long-term abandonment of the child to another's custody): the child's age and judgment capacity; the basis for and strength of its preference, generally; the treatment extended to the child by the contestants for its custody; and the wrongful inducement of the child's wishes.

Id. at § 2(a). *See also* Wanda Ellen Wakefield, Annotation, *Desire of Child as to Geographic Location of Residence or Domicile as Factor in Awarding Custody or Terminating Parental Rights*, 10 A.L.R.4th 827 (1981).

Although there are a handful of states in which, by statute, the court must defer to the wishes of an older child when choosing between fit parents (*see* 4 A.L.R.3d, *supra*), even if State A has such a statute it would not be applicable in this case because the custody contest is between a fit parent and a nonparent.

Here, Wendy's frequent absences from home are work-related, and Frank has been at home and able to provide care at all times. And even if the aunt were to substantiate Danielle's claim that her father is "depressed," the father's mental state does not represent a showing that his care is inadequate or that he is unfit. In sum, because of the preference accorded parents in a custody contest with a nonparent, it is highly unlikely that a court will grant the aunt's custody petition despite Danielle's stated preference.

JULY 2019 MEE

ANALYSIS 6—CIVIL PROCEDURE / CONSTITUTIONAL LAW

This July 2019 analysis for the MEE was provided to bar examiners to assist in grading the examination. It addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses were expected to be. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Does a federal district court have diversity jurisdiction over a class action when (a) the amount in controversy is \$15,000,000 and (b) there is no diversity between the defendant and the class representative, though there is diversity between the defendant and other class members?
- (2) Does a state-law rule prohibiting class actions for recovery of statutory damages apply to bar a class action brought in federal court when the state rule is contained in a state statute governing court procedure and is not tied to any particular state-law substantive right?
- (3) Do the members of a plaintiff class have standing to bring a claim in federal court when they cannot prove tangible damage to themselves but do have a claim for statutory damages for violations of privacy rights protected by state law?

DISCUSSION

Summary

Trident’s motion to dismiss for lack of subject-matter jurisdiction should be denied. A federal district court can exercise diversity jurisdiction over a class action if the amount in controversy exceeds \$5,000,000 and *any* member of the class is diverse from *any* defendant (i.e., there is minimal diversity). Here, those requirements are met. Each member of the class is alleged to be entitled to statutory damages of \$500 and there are at least 30,000 class members. If the class claims are upheld, total damages will be at least \$15,000,000, far in excess of the \$5,000,000 required to be in controversy for this kind of action. There is minimal diversity because the defendant is a citizen of State X, while some members of the class live in States Y and Z.

When a claim based on state-law rights is brought in federal court, it is governed by federal procedure law. So federal procedural rules for class actions govern, not State X procedural rules. The federal court is not bound by State X’s law barring class actions to recover statutory damages. Thus, the action should not be dismissed on this basis.

The plaintiff probably has standing to bring the statutory (nominal) damages claim in federal court. The issue is whether the alleged “invasion of privacy” suffered by the plaintiff is an “injury in fact” even though the plaintiff cannot prove any actual damages. Given the state’s

determination that data breaches involving private medical information cause harm to individual privacy even when actual damages cannot be shown, it is likely that a federal court would conclude that the invasion of privacy resulting from disclosure of private medical information is sufficiently concrete to warrant a finding of standing.

Point One (35%)

Because the amount in controversy in this class action exceeds \$5,000,000 and there is minimal diversity, the federal district court has subject-matter jurisdiction to hear the case under its diversity jurisdiction.

In 2005, Congress amended the federal diversity-jurisdiction statute, 28 U.S.C. § 1332, to allow large class actions to be brought in federal court, even if there is not complete diversity between the defendants and the plaintiffs. Under § 1332(d)(2)(A), a federal district court can exercise diversity jurisdiction over a class action if (i) “the matter in controversy exceeds the sum or value of \$5,000,000” and (ii) “any member of a class of plaintiffs is a citizen of a State different from any defendant” (i.e., “minimal diversity”).

Here, those requirements are met. First, the amount in controversy exceeds \$5,000,000. The plaintiff is suing on behalf of a class of at least 30,000 plaintiffs, each of whom has a statutory damages claim of \$500. These claims can be aggregated in determining jurisdiction. *See* 28 U.S.C. § 1332(d)(6). Thus, if the plaintiff’s class claim is upheld, the amount in controversy exceeds \$15,000,000.

Second, there is minimal diversity between some members of the plaintiff class and the defendant. Trident is a citizen of State X, where it is incorporated and where its corporate headquarters are located. *See* 28 U.S.C. § 1332(c)(1) (a corporation is a citizen of its state of incorporation and the state where it has its principal place of business); *Hertz Corp. v. Friend*, 559 U.S. 77 (2010) (corporation’s principal place of business is state “where the corporation’s high level officers direct, control, and coordinate the corporation’s activities”). All that is required, therefore, is that at least one member of the plaintiff class be a citizen of a state other than State X.

Here, 10,000 members of the plaintiff class live in State Y, and 15,000 members live in State Z. The complaint further alleges that most, if not all, of these class members are U.S. citizens. Assuming that Trident does not contest these factual claims, there is almost certainly at least one member of the class who is a citizen of either State Y or State Z and therefore diverse from Trident, a citizen of State X. A U.S. citizen is a citizen of the state in which she has her domicile. Domicile is defined as “residence in fact, combined with the intention of making the place of residence one’s home for an indefinite period.” Friedenthal, Kane & Miller, *Civil Procedure* § 2.6 at 31 (4th ed. 2005). Among the 25,000 members of the class actually living in States Y or Z, there will doubtless be thousands who meet the requirements of U.S. citizenship and domicile in those states, so that the minimal diversity requirements are met. It does not matter that there are also members of the plaintiff class (i.e., those living in State X) who are not diverse from the defendant.

[NOTE: According to the class-action provisions of the diversity-jurisdiction statute, a court may decline (and sometimes must decline) to exercise jurisdiction when a class involves a significant

proportion of nondiverse class members. *See* 28 U.S.C. § 1332(d)(3), (d)(4) (court “may” decline when nondiverse members constitute greater than one-third and less than two-thirds of total class; and court “shall” decline when nondiverse members constitute greater than two-thirds of total class). Here, the number of State X class members (5,000) is less than one-third of the total class (at least 30,000), and thus these special provisions do not apply. In addition, the further exceptions to the class-action diversity rules (for class actions against state officials, class actions with fewer than 100 members, and class actions involving securities or corporate fiduciary claims) are not raised by the facts of this question. *See* 28 U.S.C. § 1332(d)(5), (d)(9).]

Point Two (35%)

When a claim based on state-law rights is brought in federal court, it is governed by federal procedure. So federal procedural rules for class actions govern, and the federal court is not bound by State X’s procedural law barring class actions to recover statutory damages. Thus, the action should not be dismissed because of State X’s law.

This action is appropriate if it is authorized by Federal Rule of Civil Procedure 23 regardless of what the state procedural law says. In *Erie Railroad Co. v. Tompkins*, 304 U.S. 64 (1938), the Supreme Court held that federal courts sitting in diversity must look to state law for the substantive rules of decision governing such cases. However, in a series of subsequent cases, the Court made clear that federal law would continue to govern procedural matters in federal court, even if the federal procedure affected the outcome of the litigation. *See Byrd v. Blue Ridge Rural Electric Coop., Inc.*, 356 U.S. 525 (1958) (federal rule providing for jury determination of particular issue controls in federal court despite contrary state rule requiring the issue to be decided by a judge). If there is a federal procedural rule that governs an issue, it applies “unless it exceeds statutory authorization or Congress’s rulemaking power.” *See Shady Grove Orthopedic Associates v. Allstate Ins. Co.*, 559 U.S. 393, 398 (2010) (citing *Burlington Northern R. Co. v. Woods*, 480 U.S. 1, 5 (1987)).

In *Shady Grove*, the Court considered a New York law barring class actions to enforce statutory damages claims. The Court concluded that such actions can be maintained in federal court, despite the state law, if the action is authorized by Rule 23. According to the Court, Rule 23 is both a procedural rule within the scope of the Rules Enabling Act and a rule that entitles “a plaintiff whose suit meets the specified criteria to pursue his claim as a class action.” 559 U.S. at 398. Thus, a class action may be maintained in federal court even though there is a contrary state-law provision forbidding class actions.

[NOTE: To bring a class action under Rule 23, a plaintiff must first satisfy the requirements of Rule 23(a). Here, the requirements of Rule 23(a) (numerosity, commonality, typicality, and adequate representation) are satisfied.]

[NOTE: The facts of this problem fall squarely within the holding of *Shady Grove*, so there should be no question that Rule 23 should be applied, not the contrary law of State X. However, the Court was fractured as to the rationale for its decision in *Shady Grove*, and Justice Stevens (a critical fifth vote) suggested that Rule 23 would not apply if a state law limiting class actions is “so intertwined with a state right or remedy that it functions to define the scope of the state-created right.” 559 U.S. at 423. Thus, some examinees might emphasize that the state law in this

problem is a general law that does not directly modify rights granted by any particular substantive law, including the State X Privacy Protection Act at issue in this question.]

Point Three (30%)

The court is likely to conclude that there is a “concrete” injury arising from the hacking of the medical information, as required for there to be standing under Article III. Thus the court should probably not grant the motion to dismiss for lack of the plaintiff’s standing.

Federal court jurisdiction is limited by Article III of the Constitution to “Cases” and “Controversies.” *Lujan v. Defenders of Wildlife*, 504 U.S. 555 (1992). To establish standing, a plaintiff must show (1) an injury in fact, (2) fairly traceable to the challenged conduct of the defendant, and (3) likely to be redressed by a favorable judicial decision. *Spokeo, Inc. v. Robins*, 578 U.S. ___, 136 S.Ct. 1540, 1547 (2016), *citing Lujan* at 560–561.

Here, the plaintiff’s claimed injury is the invasion of his privacy resulting from unauthorized access by third-party hackers to his personal medical information. The facts indicate that his injury was a result of the defendant’s failure to protect that information (as it was required to do by the State X Privacy Protection Act). A favorable decision would redress the injury through an award of damages, but that award would be based on the statute’s provision for statutory damages, not on proof of the actual extent of harm to the plaintiff. Thus, the issue is whether the asserted “invasion of privacy” counts as an “injury in fact” when the plaintiff does not claim that he, or any member of the class, suffered any actual damage and seeks to recover only statutory damages.

In *Spokeo*, 136 S.Ct. at 1549, the Supreme Court concluded that “Article III standing requires a concrete injury even in the context of a statutory violation.” In *Spokeo*, inaccurate information about a plaintiff was included in a credit-reporting database, but there was no evidence that the plaintiff had been harmed by that fact. The Supreme Court held that there was no “injury” for standing purposes, despite the fact that a state law would have awarded the plaintiff statutory damages based on the presence of the inaccurate information alone. The Court emphasized that the “injury in fact” element of the Court’s standing test required a showing that the plaintiff suffered “an invasion of a legally protected interest” that is “concrete” as well as “particularized.” The mere fact that a defendant has acted improperly toward a particular plaintiff (e.g., by including inaccurate information about the plaintiff in a credit-reporting database) is not enough; nor is it enough that the defendant’s conduct violated a state statute. For the plaintiff to have standing to bring a claim in federal court, the defendant’s statutory violation must have “concretely” injured that plaintiff.

The Court in *Spokeo* also said that actual monetary harm to a plaintiff isn’t required for standing: an “intangible” injury can nonetheless be a “concrete injury.” Moreover, the Court indicated that a legislative judgment that certain intangible harms constitute injury in fact would be “instructive.” But the Court made clear that a plaintiff does not satisfy the injury-in-fact requirement merely because a statute has granted the plaintiff a statutory right and the defendant has allegedly violated that statute. *Id.* at 1549.

After *Spokeo*, the question is whether an invasion of a plaintiff’s privacy, without more, is a sufficiently “concrete” injury to satisfy standing requirements. Although it can be argued that no

harm is present on our facts here because there is no evidence that the plaintiff's improperly disclosed medical information has been improperly used to the plaintiff's detriment, the invasion of privacy alone may constitute concrete harm, albeit 'intangible' harm, sufficient for standing. Knowledge that one's private medical information is in the hands of a third party may cause emotional distress or worry, even if the information is never used. Support for a conclusion that such harms are concrete harms is also found in State X's legislative judgment that the loss of privacy that occurs when medical records are disclosed constitutes injury warranting a recovery of damages even when no actual damages can be established.

In cases decided since *Spokeo*, several federal courts have held that an invasion of privacy is, in and of itself, a concrete injury, even when extensive damages cannot be proved. See *Perry v. Cable News Network, Inc.*, 854 F.3d 1336 (11th Cir. 2017) (disclosure to third party of user's viewing history on CNN mobile software app is violation of personal privacy sufficient to constitute "concrete injury"); *Blumenfeld v. Regions Bank*, 374 F.Supp. 3d 1165 (N.D. Ala. 2019) (invasion of privacy from disclosure of person's private financial information to a third party is a concrete injury); *Soukhaphonh v. Hot Topic, Inc.*, 2017 WL 2909403 (C.D. Cal. 2017) ("an invasion of privacy, even one based on a solitary text message, is a sufficient injury to establish standing"); *Toldi v. Hyundai Capital America*, 2017 WL 736882 (D. Nev. 2017) ("intrusive invasion of privacy" from autodialed and prerecorded calls is a concrete injury); *Krakauer v. Dish Network L.L.C.*, 168 F.Supp. 3d 843, 845 (M.D. N.C. 2016) ("disruptive and annoying invasion of privacy" from telemarketing calls is concrete injury).

February 2020
MEE Questions
and Analyses

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the February 2019 MEE. (In the actual test, the questions are simply numbered rather than being identified by area of law.) The instructions for the test appear on page iii.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, identified by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Civil Procedure question on the February 2019 MEE tested the following areas from the Civil Procedure outline: I.A. Jurisdiction and venue—Federal subject matter jurisdiction (federal question, diversity, supplemental, and removal); and B. Personal jurisdiction.

For more information about the MEE, including subject matter outlines, visit the NCBE website at www.ncbex.org.

Description of the MEE

The MEE consists of six 30-minute questions and is a component of the Uniform Bar Examination (UBE). It is administered by user jurisdictions as part of the bar examination on the Tuesday before the last Wednesday in February and July of each year. Areas of law that may be covered on the MEE include the following: Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Civil Procedure, Conflict of Laws, Constitutional Law, Contracts (including Article 2 [Sales] of the Uniform Commercial Code), Criminal Law and Procedure, Evidence, Family Law, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Article 9 (Secured Transactions) of the Uniform Commercial Code. Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusions. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Examinees testing in UBE jurisdictions must answer questions according to generally accepted fundamental legal principles. Examinees in non-UBE jurisdictions should answer according to generally accepted fundamental legal principles unless your testing jurisdiction has instructed you to answer according to local case or statutory law.

February 2020 MEE Questions

Contracts

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FEBRUARY 2020 MEE

QUESTION 1–CONTRACTS

A homeowner entered into two separate contracts with a contractor for the renovation of her kitchen and the remodeling of her bathroom. The homeowner has refused to pay the contractor on both contracts because of dissatisfaction with his work.

Under the kitchen contract, the contractor had agreed to renovate the homeowner's kitchen for \$50,000, payable in installments. The final installment of \$8,000 was due 10 days after completion of the project. The kitchen contract called for repainting the cabinets, installing new appliances bought by the homeowner from a third party, and replacing the flooring in the kitchen with linoleum, which is a floor covering made from natural materials. When the contract was negotiated, the contractor had asked the homeowner why she wanted "such old-fashioned flooring instead of more modern resilient flooring like vinyl." The homeowner had responded, "We are a green household, and it is very important to us to use linoleum, which is a green product, unlike vinyl. Moreover, I grew up in a house with a linoleum floor in the kitchen, and I really want to be reminded of my youth when I walk into the kitchen."

Despite the clear contract language, the contractor installed vinyl flooring in the kitchen. The vinyl flooring looks similar to the contractually required linoleum but is not as durable. Before the final payment was due, the homeowner discovered that the flooring was vinyl rather than linoleum and confronted the contractor. The contractor stated, "I knew that you wanted linoleum, but that's a crazy idea. Vinyl was a lot easier for my workers to install, and it looks as good as linoleum. So I made an executive decision to go with vinyl." The homeowner announced that she would not make the last installment payment unless the contractor removed the vinyl flooring and replaced it with linoleum. Removing the vinyl flooring and replacing it with linoleum would be labor-intensive and would cost the contractor approximately \$10,000. The market value of the house, however, would be the same whether the kitchen had vinyl flooring such as that installed by the contractor or linoleum flooring as called for in the contract.

Under the bathroom contract, the contractor had agreed to remodel the homeowner's bathroom for \$25,000. The contract called for the existing bathtub to remain along one wall and a new vanity (cabinet and sink) to be installed along the opposite wall. The contract called for a 30-inch space between the vanity and the bathtub (so that a person could easily walk between them).

After the contractor said he was finished, the homeowner measured the space between the vanity and the bathtub and discovered that it was only 29 inches. The homeowner then announced that she would not pay the last installment of the contract price (\$10,000), which was due upon completion of the remodeling, unless the contractor "did something" to make the space at least 30 inches wide. The only way to make the space at least 30 inches wide would be to remove either the vanity or the bathtub and to obtain and install a smaller custom-made model. This would cost the contractor about \$7,500. The market value of the house with only a 29-inch space between the vanity and the bathtub, however, would be \$500 less than with a 30-inch space.

The homeowner had selected the contractor because of the contractor's reputation for high-quality installation. In both contracts, the price was based mostly on labor costs because the cost of materials and fixtures was relatively small.

Assuming that the contractor will do nothing to address the homeowner's concerns:

1. How much more, if anything, is the homeowner required to pay the contractor under the kitchen contract? Explain.
2. How much more, if anything, is the homeowner required to pay the contractor under the bathroom contract? Explain.

FEBRUARY 2020 MEE
QUESTION 2—REAL PROPERTY

Ten years ago, a woman and her husband purchased a one-story commercial building in a city in State A “as joint tenants with right of survivorship and not as tenants in common.” They had a “commuter marriage.” The husband lived in an apartment in State A. The woman, who worked for an international corporation, lived in a rented apartment overseas. They met one weekend each month.

Three years ago, the husband borrowed \$150,000 from a friend and granted the friend a mortgage on the commercial building to secure repayment of the loan. The husband used the \$150,000 to purchase a yacht. The certificate of title for the yacht was issued in his name alone.

Two years ago, the husband leased the building to a commercial tenant for a 10-year period at an annual rent of \$9,000, “payable in equal monthly installments solely to” the husband.

The woman did not know about either of these transactions, and she did not join in the mortgage or the lease.

Last year, following the husband’s unexpected death, the woman first learned of the mortgage and the lease.

State A applies the title theory of mortgages, and its courts strictly apply the common law four-unities test. State A does not recognize tenancies by the entirety.

1. Did the husband’s execution of the mortgage sever the joint tenancy? Explain.
2. Assuming that the execution of the mortgage did not sever the joint tenancy:
 - (a) Did the husband’s execution of the lease sever the joint tenancy? Explain.
 - (b) Assuming further that the lease severed the joint tenancy, then upon the husband’s death, what rights, if any, does the tenant have in the building? Explain.
3. Assuming that neither the mortgage nor the lease severed the joint tenancy:
 - (a) During the spouses’ lifetimes, was the woman entitled to half of the rental income payable to her husband under the lease? Explain.
 - (b) At the husband’s death, what rights, if any, do the woman and the tenant have in the building? Explain.

FEBRUARY 2020 MEE
QUESTION 3—CIVIL PROCEDURE

During a snowstorm, a woman and a man were driving in opposite directions on a state highway when their cars collided head-on in the middle of the road. At the moment of impact, the locking mechanism on the woman's seat belt malfunctioned, and the woman was thrown from her car and seriously injured.

The woman was transported from the scene of the accident in an ambulance owned and operated by AmCo, a private ambulance company. On the way to the hospital, the ambulance driver lost control of the ambulance, which skidded off the highway, causing further injury to the woman and exacerbating the injuries she had suffered in the original accident.

Six months later, the woman filed a tort action in federal district court against the man, AmCo, and CarCo, the manufacturer of the woman's car. The complaint alleges that each defendant is liable for all or part of the woman's injuries. In particular, the complaint alleges that the man caused the original accident by swerving across the median of the highway, that AmCo's driver was driving too fast for the weather and road conditions, and that CarCo is liable because the seat belt in the woman's car was defectively manufactured. The woman's complaint properly invoked the court's diversity jurisdiction, and each defendant was properly served with process. Each defendant filed an answer to the complaint and denied liability.

Seven days after it served its answer, CarCo served a summons and complaint on LockCo, the company that manufactured and supplied the seat belt locking mechanism that CarCo installed in the woman's car. CarCo seeks to join LockCo as a party to the woman's action, alleging that LockCo must indemnify CarCo if the seat belt locking mechanism is found to have been defective and CarCo is held liable to the woman.

1. Under the Federal Rules of Civil Procedure, did the woman properly join the man, AmCo, and CarCo as defendants in a single action? Explain.
2. Under the Federal Rules of Civil Procedure, did CarCo properly join LockCo as a party to the woman's action against CarCo? Explain.

FEBRUARY 2020 MEE
QUESTION 4—SECURED TRANSACTIONS

On February 1, Construction Company borrowed \$500,000 from Bank. Construction Company's president, on behalf of the company, contemporaneously signed and delivered to Bank a security agreement that included the following language:

To secure the repayment obligation of Construction Company to Bank, Construction Company hereby grants Bank a security interest in all rights of Construction Company to be paid with respect to any contract for the construction or repair of bridges or roads, whether such right exists now or arises in the future.

On March 1, Construction Company entered into a contract with a developer to build roads for a housing development. The contract required the developer to pay \$450,000 to Construction Company upon completion of the road-building project.

On September 1, Construction Company defaulted on its obligations to Bank under the loan and the security agreement. Bank immediately sent a letter to the developer. The letter, which was signed on behalf of Bank by its president, read as follows: "In accordance with a security interest granted to us by Construction Company, all payments under your contract with Construction Company should be made to us at [address of Bank]."

This letter was received by the developer on September 3.

On October 1, Construction Company completed its project for the developer and sent an invoice to the developer demanding payment. The developer's treasurer decided to pay Construction Company, and not Bank, because the developer had a contract with Construction Company but not with Bank. The developer's treasurer promptly sent a check for \$450,000 to Construction Company, which deposited the check and used the proceeds to pay its employees and subcontractors.

A few days later, when Bank learned that Construction Company had completed the road-building project, Bank sent an email to the developer demanding that the developer pay Bank the \$450,000 contract price. Attached to the email was a copy of the security agreement signed by Construction Company and a copy of Bank's September 1 letter to the developer directing it to make all contract payments to Bank. The developer responded that it had already paid Construction Company and was therefore discharged from its payment obligation under the road-building contract. The developer also stated that the security agreement executed on February 1 could not have encumbered Construction Company's right to be paid under the road-building contract because that contract did not exist until March 1.

1. Did Bank have a security interest in Construction Company's right to be paid \$450,000 by the developer for the road-building project? Explain.
2. Was the developer discharged from its payment obligation under the road-building contract by virtue of its having paid Construction Company? Explain.

FEBRUARY 2020 MEE
QUESTION 5—AGENCY

Linda owned and operated a clothing store as a sole proprietorship. To increase sales, she decided to offer a same-day delivery service to local customers. Rather than hiring an employee to make deliveries, she decided to use a driver who was an independent contractor to make deliveries on an as-needed basis. Because she did not know anyone who could do this work, she searched a website that listed local delivery drivers.

The website included the drivers' names, their hourly rates, and customer reviews of their work. A driver on the list with the lowest hourly rate by a wide margin used his own delivery van for making deliveries. But 40 recent customer reviews of this driver on a scale of 1 (low) to 5 (high) rated him as 1.5, citing specific instances of misbehavior, untrustworthiness, and bad driving. The website also reported that in the last couple of years, the driver had been sued three times for negligent driving and had been found liable in each case. Nonetheless, Linda decided to use this driver to make deliveries because of his inexpensive hourly rate and because he had his own delivery van.

When she hired the driver, Linda told him that, when making deliveries for the store, he would have to place self-sticking, removable signs advertising the store on both sides of his delivery van. He agreed, but because such signs ranged in price from \$100 to \$500 per pair, he told Linda that she would have to purchase them for him to use. Because she was too busy to do that, Linda asked him to purchase the signs but not to spend more than \$300 for the pair when doing so. Linda gave the driver one of the store's cards, and as a means of identifying the driver as acting for the store, she wrote on the back, "This is my agent to purchase signs for my store."

The driver then went to a local sign shop, showed the shop owner the business card that Linda had given him (including her handwritten note on the back), and purchased a pair of custom-made signs for \$450 on credit. Because the signs were custom-made, they were not returnable or refundable. When the completed signs were delivered to Linda, she refused to take possession of them or pay the sign shop for them because their cost exceeded the amount she had told the driver to spend by \$150. The driver then made two smaller signs with the store name on them and, with Linda's approval, put them on his van when making deliveries.

Three weeks ago, Linda called a customer and told her, "My driver is on his way to make a delivery to you in a van with the store's name on its side." The customer kept watch at her window, and when she saw the van with the store's signs on it, she went out to the driveway through her garage. As she started to walk toward the van, the driver negligently hit the accelerator pedal, causing the van to hit the customer, who sustained substantial injuries.

Assume that there was an enforceable contract to buy the signs from the sign shop, that the driver's negligence proximately caused the customer's injuries, and that the driver was acting as Linda's independent-contractor agent.

1. Is Linda liable to the sign shop for the purchase price of the signs? Explain.
2. Is the driver liable to the sign shop for the purchase price of the signs? Explain.

3. Even though the driver was an independent contractor, is Linda vicariously liable to the customer for the injuries resulting from the driver's negligence? Explain.
4. Is Linda directly liable to the customer for the injuries the customer sustained? Explain.

FEBRUARY 2020 MEE
QUESTION 6—EVIDENCE/CRIMINAL LAW

A man and a woman were waiting in line at a public park for tickets to attend an outdoor performance of a play. They soon began arguing about sports, and as their conversation became more animated, the man began shouting at the woman and poking her shoulder with his finger. As the man poked harder and harder, the woman responded by punching the man in the nose.

The woman was arrested at the scene and charged with battery.

At trial, the prosecutor intends to elicit the following testimony from an eyewitness who was standing in the line:

Before the man arrived, I saw the woman talking to a friend. The friend said to the woman, “You and I have waited so long for these tickets, if anyone annoys us today they will not be seeing this play—they’ll be going to the hospital!” The woman nodded her head and gave the friend a thumbs-up signal.

I recognized the woman. I live in her neighborhood, and I probably see her at least twice a week. Every time I see her, she is arguing with people, acting out, and generally causing problems.

Assuming that the eyewitness is permitted to testify for the prosecution, defense counsel plans to

- (1) cross-examine the eyewitness about her five-year-old conviction for shoplifting, a crime punishable by a maximum sentence of six months in jail; and
- (2) cross-examine the eyewitness about a letter recently written by the eyewitness to the man saying, “Thanks for 10 years of a great friendship.”

The jurisdiction’s rules governing crimes and affirmative defenses follow common law principles. The evidence rules of the jurisdiction are identical to the Federal Rules of Evidence.

The woman’s friend is unavailable and will not testify at trial.

1. Assuming that the prosecution proves the elements of battery, can the woman establish a common law affirmative defense based on these facts? Explain.
2. What portions of the eyewitness’s testimony, if any, would be admissible? Explain.
3. What portions, if any, of the defense counsel’s cross-examination should the court permit? Explain.

Do not discuss any constitutional issues.

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FEBRUARY 2020 MEE ANALYSIS 1–CONTRACTS

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) How much more, if anything, is the homeowner required to pay the contractor under the kitchen contract?
- (2) How much more, if anything, is the homeowner required to pay the contractor under the bathroom contract?

DISCUSSION

Summary

The common law of contracts, rather than Article 2 of the Uniform Commercial Code, applies to these contracts because the services aspects of each contract predominate. Generally, under the common law of contracts, one party's failure to perform excuses the other party from making payment if the breaching party "materially breached" the contract or failed to "substantially perform" his obligations.

In the case of the kitchen contract, a court is likely to conclude that the contractor did not substantially perform the contract by installing vinyl flooring and not the linoleum flooring that the homeowner wanted for various reasons and that was specified in the contract, thus excusing the homeowner's final payment (\$8,000) under this contract. The homeowner is therefore not required to pay more under the kitchen contract.

In the case of the bathroom contract, however, a court is likely to conclude that the contractor did substantially perform the contract even though there was a 29-inch space between the vanity and the bathtub rather than the 30-inch space specified in the contract. Thus, the homeowner owes \$10,000 under this contract, subject to an offset (\$500) for the diminution in value of her house.

Point One (45% total weight)

The kitchen contract was predominantly one for services and thus governed by the common law of contracts. It is likely that a court would conclude that the contractor did not substantially perform, thus the homeowner would not be required to make the final payment (\$8,000) under this contract.

(15%) Dispute governed by the common law of contracts. In contracts such as those at issue here, where both goods and non-goods (such as services) are involved, most courts consider the thrust or predominant purpose of the transaction in determining whether Article 2 of the UCC or the common law of contracts governs the contract. *Milau Associates v. North Ave. Dev. Corp.*, 42 N.Y.2d 482, 368 N.E.2d 1247 (N.Y. 1977). While the homeowner did acquire some goods (flooring and bathroom fixtures) under these contracts, the facts make it clear that the homeowner sought high-quality installation services and that the contract price was determined mostly by labor costs. Thus, the construction/service aspects of the contract dominate. Accordingly, the common law of contracts rather than Article 2 of the Uniform Commercial Code applies to the kitchen contract.

[NOTE: It is important for the examinee to determine whether the disputes here are governed by Article 2 of the Uniform Commercial Code (which governs transactions in goods; see UCC § 2-102) or the common law of contracts. This is because UCC Article 2 would resolve these disputes by applying the “perfect tender rule” under UCC § 2-601, which allows the buyer to reject goods if they do not meet the contractual specifications in any respect, while the common law of contracts applies the doctrine of “substantial performance” (see below).]

(30%) Kitchen contract not substantially performed. Under the common law doctrine of substantial performance, a party that breaches a contract is nonetheless entitled to the other party’s performance if the breaching party has not “materially breached” the contract, but instead has “substantially performed.” See, e.g., E. Allan Farnsworth, Contracts § 8.12 (4th ed. 2004) (“If one party’s performance is a constructive condition of the other party’s duty, only ‘substantial’ performance is required of the first party before that party can recover under the contract”).

Courts consider several factors in determining whether there has been a “material breach” by one party that excuses the injured party’s performance: (1) the extent to which the injured party will be deprived of a benefit he or she reasonably expected, (2) the extent to which the injured party can be adequately compensated for the part of the benefit of which he or she will be deprived, (3) the extent to which the party failing to perform will suffer forfeiture, (4) the likelihood that the party failing to perform will cure that failure, and (5) the extent to which the behavior of the party failing to perform comports with standards of good faith and fair dealing. See Restatement (Second) of Contracts § 241; see also *Jacob & Youngs, Inc. v. Kent*, 230 N.Y. 239, 129 N.E. 889 (N.Y. 1921).

Some courts have held that when a party’s breach is “willful,” that party’s performance cannot be substantial, regardless of the impact of denying that party the right to enforce the obligations of the other. Farnsworth, *supra*, § 8.12. See also *Jacob & Youngs, Inc. v. Kent*, 230 N.Y. at 244 (“The willful transgressor must accept the penalty of his transgression.”). Other cases, however, have held that “even a conscious and intentional departure from the contract specifications will not necessarily defeat recovery, but may be considered as one of the several factors involved in deciding whether there has been full performance.” *Vincenzi v. Cerro*, 442 A.2d 1352, 1354 (Conn. 1982).

Here, the homeowner reasonably expected linoleum flooring, not vinyl flooring, for particularized non-economic reasons (having a “green” household and nostalgia for youth).

Thus, the homeowner probably cannot adequately be compensated for the part of the benefit of which she will be deprived. Moreover, the contractor willfully breached the kitchen contract by installing vinyl flooring, strongly suggesting that the contractor did not act in good faith. Thus, it is likely that a court would conclude that the contractor's installation of vinyl flooring, not linoleum flooring, was a material breach and thus that the contractor did not substantially perform the kitchen contract. The homeowner is therefore excused from making the final payment (\$8,000) under the contract, unless the contractor removes the vinyl flooring and properly installs the contracted-for linoleum flooring.

[NOTE: The "substantial performance" determination is fact-sensitive, and it is possible (though unlikely) that a court would reach the opposite conclusion. *See* Farnsworth, *supra*, § 8.12 ("test as flexible as substantial performance sacrifices predictability to achieve justice"). If an examinee concludes that the contractor substantially performed the kitchen contract with the homeowner and thus that the homeowner must pay the remaining contract price, the examinee should also analyze whether the homeowner would be entitled to any adjustment because of the breach. Because the facts state that the homeowner's house has the same market value with vinyl flooring as it has with linoleum, such an adjustment would likely be nonexistent or only nominal.]

[NOTE: If an examinee erroneously concluded that this contract was governed by UCC Article 2 and, accordingly, analyzed this portion of the problem by applying Article 2's perfect tender rule, some credit should be given for that analysis.]

Point Two (55% total weight)

The dispute concerning the bathroom contract, which was also predominantly one for services, is governed by the common law of contracts. It is likely that a court would conclude that the contractor substantially performed. Thus, the homeowner would be required to pay the remainder of the contract price (\$10,000) minus the diminished value of the house because of the breach (\$500).

(5%) Dispute governed by the common law of contracts. As with the kitchen contract, even though the contract price included the cost of the bathroom fixtures, the facts make clear that the price turned mostly on labor costs, thus the construction/service aspects of the bathroom contract dominate. *See* Point One. Accordingly, the common law of contracts rather than Article 2 of the Uniform Commercial Code applies to the bathroom contract.

(20%) Bathroom contract substantially performed. The bathroom dispute is likely to be resolved differently from the kitchen contract dispute. *See* Point One. Here, the contractor's breach appears to be inadvertent and unintentional. Further, the benefit of the 30-inch space to the homeowner (compared to the 29-inch space created by the contractor) seems rather minimal, and there is no indication that the additional one-inch space was especially important to the homeowner. So long as the 29-inch space is usable, the breach here can probably be compensated for by damages. Moreover, the contractor would suffer a significant forfeiture if, in order to get paid, he had to remove the bathroom fixtures and obtain and install custom fixtures, all to gain a single inch of space. Accordingly, a court would likely hold that the contractor

substantially performed the bathroom contract (that is, there was not a material breach). Therefore, the homeowner would be required to pay the contractor under the contract.

(30%) Homeowner entitled to an offset. The general rule of damages for a breach of a construction contract is that the injured party may recover the reasonable cost of replacement or completion. When, however, there has been substantial performance of the contract and the cost of replacement or completion would be disproportionately high compared to the economic benefit it confers, courts have instead measured damages by the difference between the value of the property if construction had been properly completed and the value as constructed. *American Standard, Inc. v. Schectman*, 80 A.D.2d 318, 439 N.Y.S.2d 529 (N.Y. App. Div. 1981). *See also Jacob & Youngs v. Kent, supra* (in such a case, “the measure of damages is not the cost of replacement, which would be great, but the difference in value, which would be either nominal or nothing”); Restatement (Second) of Contracts § 348, comment *c*.

Here, the contractor substantially performed the bathroom contract, thus entitling him to payment under the contract. But because the contractor’s breach (leaving only a 29-inch space between the vanity and the bathtub) resulted in a diminution in the value of the house, the homeowner would likely be entitled to an adjustment based on this diminution in value. The homeowner, however, would not be entitled to recover the cost of rebuilding the bathroom (\$7,500), which is much higher than the diminution in value of the house (\$500) resulting from the breach. The \$500 diminution in value should be deducted from the \$10,000 final payment the homeowner would be required to pay the contractor, netting the contractor \$9,500 on the bathroom contract.

FEBRUARY 2020 MEE
ANALYSIS 2–REAL PROPERTY

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Did the husband's execution of the mortgage sever the joint tenancy?
- (2) Assuming that the execution of the mortgage did not sever the joint tenancy:
 - (a) Did the husband's later execution of the lease sever the joint tenancy?
 - (b) Assuming further that the lease severed the joint tenancy, then upon the husband's death, what rights, if any, does the tenant have in the building?
- (3) Assuming that neither the mortgage nor the lease severed the joint tenancy:
 - (a) During the spouses' lifetimes, was the woman entitled to half of the rental income payable to her husband under the lease?
 - (b) At the husband's death, what rights, if any, do the woman and the tenant have in the building?

DISCUSSION

Summary

Because the building is in a "title theory" state, the grant of the mortgage is a title transaction. Thus, the husband's grant of the mortgage severed the joint tenancy.

Similarly, under the common law, a lease is a conveyance and thus a title transaction. Thus, at common law the lease by the husband to the tenant would sever the joint tenancy, although not all states adopt this view today. If the lease severed the joint tenancy, the former joint tenants would own the property as tenants in common after the severance, and then after the husband's death, the tenant's rights in the husband's undivided half interest would continue in that interest for the balance of the lease term.

If neither the mortgage nor the lease severed the joint tenancy, then even though the lease agreement between the husband and the tenant provided that the rents were to be paid solely to the husband, the woman would be entitled to half of the rental income payable under the lease before the death of the husband. Furthermore, upon the husband's death, the woman alone would own the building because she would be the surviving joint tenant. And, under the principle that a

person cannot convey more than he has, the lease would terminate upon the husband's death. Thus, the woman would own the building free and clear of the tenant's interest.

[NOTE: This question tests the examinee's understanding of the consequences of a unilateral execution of a mortgage or a lease by one of two persons holding title as joint tenants with right of survivorship.]

Point One (20%)

The husband's unilateral grant of a mortgage to his friend severed the joint tenancy because State A is a title-theory state.

States differ as to whether the grant of a mortgage is a "title" transaction. In so-called "title theory" states, the grant of a mortgage by one joint tenant severs a joint tenancy because the mortgage severs the "unity of title" requirement as between the mortgagee and the joint tenant who did not enter into the mortgage agreement. Dale A. Whitman, Ann M. Burkhart, R. Wilson Freyermuth & Troy A. Rule, *The Law of Property* 153 (4th ed. 2019). Here the facts state that the property is in a title-theory state. Thus, the grant of the mortgage severed the joint tenancy, and the woman and her husband, upon severance, held title as tenants in common.

[NOTE: Under the common law four-unities test, a joint tenancy is severed and converted into a tenancy in common if, subsequent to the creation of the joint tenancy, there is a severance of the joint tenants' unity of time, title, interest, or possession. The execution of a mortgage in a title jurisdiction after the creation of the joint tenancy, which is a title transaction, severs the unity of both title and time because the mortgagee and the other joint tenant no longer have interests in the property that were created at the same time or under the same instrument. In many jurisdictions, the execution of a lease has the same consequence. *See* Point Two(a).]

Point Two(a) (15%)

If the mortgage did not sever the joint tenancy, then under the common law, the husband's unilateral execution of the lease would sever the joint tenancy. However, in some states today, a lease does not sever a joint tenancy.

At common law, a lease was treated as a conveyance of real property. Because of this, the grant of a lease by one joint tenant severed the unity of both title and interest, thereby destroying the right of survivorship. Joseph W. Singer, *Property* 352 (5th ed. 2017). Most states continue to follow the common law approach. *Id.*; *see, e.g., Alexander v. Boyer*, 253 A.2d 359 (Md. 1969). Other common law jurisdictions, however, hold that a lease does not sever a joint tenancy.

In at least one state, a middle ground has been adopted. In *Tenhet v. Boswell*, 554 P.2d 330 (Cal. 1976), the court adopted the view that the leasing of a joint tenant's interest severs the joint tenancy only if the leasing joint tenant dies before the end of the lease term. On the other hand, if the leasing joint tenant survives the lease term and later is the first of the co-tenants to die, the survivor owns the entire property by right of survivorship.

Here, the facts do not indicate which approach State A follows.

[NOTE: Examinees should receive full credit for adopting any one of these positions. The critical score comes in Point Two(b) (severance) and Point Three(b) (no severance), where the consequences to the tenant of each of these positions is discussed.]

Point Two(b) (20%)

If the lease severed the joint tenancy, then the woman and her husband had a tenancy in common and upon the husband's death the tenant's lease would be valid with respect to the husband's undivided half interest in the building.

If the execution of the lease severed the joint tenancy, then immediately after the execution of the lease, the woman and her husband owned the building as tenants in common and the husband's undivided half interest was subject to the lease. In such a case, the lease survives the husband's death and is valid as against his half interest. Of course, because the tenant can have no greater rights than the husband had, while the tenant would be entitled to possession of the whole, the tenant cannot exclude the woman from also possessing the property should she so choose, just as the husband could not exclude her during his lifetime. Singer, *supra*, at 356–357.

Point Three(a) (20%)

Assuming that neither the mortgage nor the lease severed the joint tenancy, the woman would be entitled to half of the rental income payable under the lease during the husband's lifetime.

Joint tenants have equal rights of possession. Although possession by one tenant is not wrongful if the other tenant is not excluded, the exclusion of one joint tenant by the other is wrongful. Because possession by one joint tenant alone is not wrongful in the absence of exclusion, a joint tenant in possession is not liable to the joint tenant out of possession for the rental value of the property. *See generally* William B. Stoebuck & Dale A. Whitman, *The Law of Property* § 5.8 (3d ed. 2002).

However, when one joint tenant, acting alone, leases the property to a third party, each joint tenant is entitled to half of the rental income. *Id.* *See also* Singer, *supra*, at 367. If the leasing joint tenant to whom rent is paid does not share that rent with the other joint tenant, the other joint tenant may bring an accounting proceeding to compel a sharing of the rent.

Thus, the woman would be entitled to half of the rental income from the lease granted by her husband during his lifetime.

Point Three(b) (25%)

Assuming that neither the mortgage nor the lease severed the joint tenancy, then upon the husband's death the woman, as the surviving joint tenant, would own the building free and clear of the lease.

If the lease did not sever the joint tenancy, then upon the husband's death the woman alone would own the building by right of survivorship. Under the theory that the leasing joint tenant who died first effectively had only a life estate and could not convey more than he had, the lease would necessarily terminate at his death. Thus, the woman also would take the building free and clear of the rights of the tenant. *See* Singer, *supra*, at 356–358.

FEBRUARY 2020 MEE ANALYSIS 3 – CIVIL PROCEDURE

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Under the Federal Rules of Civil Procedure, did the woman properly join the man, AmCo, and CarCo as defendants in a single action?
- (2) Under the Federal Rules of Civil Procedure, did CarCo properly join LockCo as a party to the woman's action against CarCo?

DISCUSSION

Summary

Under Fed. R. Civ. P. 20(a)(2), the woman may join all three defendants in a single action. Joinder is permitted because the woman's claims against the three defendants arise out of the same series of occurrences (the two related accidents) and because there are questions of fact common to all defendants (the nature, extent, and cause of the woman's injuries). Joinder is not barred by the fact that there are differences in the legal and factual bases for the liability of the three defendants.

Under Fed. R. Civ. P. 14(a)(1), CarCo may file a third-party complaint (impleader) against LockCo, thereby joining LockCo to the action as a third-party defendant. Here, based on CarCo's claim for indemnification, CarCo would be asserting that LockCo, as the manufacturer and supplier of the allegedly defective seat belt locking mechanism, is liable to CarCo for CarCo's liability to the woman.

Point One (50% total weight)

Under Fed. R. Civ. P. 20(a)(2), the woman may join all three defendants in a single action because her claims for relief against all three defendants arise out of a single series of related occurrences and there are questions of fact common to all defendants.

Fed. R. Civ. P. 20(a)(2) governs permissive joinder of parties. It provides as follows:

Persons . . . may be joined in one action as defendants if:

- (A) any right to relief is asserted against them jointly, severally, or in the alternative with respect to or arising out of the same transaction, occurrence, or series of transactions or occurrences; and
- (B) any question of law or fact common to all defendants will arise in the action.

Here, all the requirements for permissive joinder are present.

(30%) Same transaction, occurrence, or series of transactions or occurrences. The woman is asserting a right to relief against each defendant for injuries she suffered, either in the automobile accident or in the ambulance accident (which allegedly exacerbated her original injuries and caused new injuries). The basis for liability as to each defendant differs—the man’s liability arises from the man’s alleged negligent driving at the original accident scene, AmCo’s liability arises from the alleged negligent driving of its driver triggering the second accident, and CarCo’s liability is based on products liability and arises from its sale to the woman of a car with an allegedly defective seat belt. Each defendant, if found liable for his or its respective acts, would be liable for some part of the injuries suffered by the woman.

The woman’s claims against the three defendants meet the “same transaction or occurrence” requirement. In determining whether claims against multiple defendants arise out of the same transaction or occurrence or series of transactions/occurrences, courts often ask whether the plaintiff’s claims against the defendants are logically related. If there is a logical relationship between the claims and if it would serve judicial economy to hear the (related) claims together, the test is met. A typical situation is when an injured plaintiff joins “both the original tortfeasor and a second tortfeasor whose subsequent negligence aggravated plaintiff’s original injuries.”⁷ Charles Alan Wright et al., *Federal Practice and Procedure* § 1653 (3d ed.).

Here, even though the action involves two accidents, the two accidents are clearly related. The ambulance accident would not have occurred but for the first accident and the need to rush the woman to the hospital. Moreover, the ambulance accident exacerbated injuries suffered in the first accident. Because of this close relationship, the court should conclude that the two accidents are part of a single occurrence or that they are part of a related “series of . . . occurrences,” and that judicial economy would be served by allowing the court to resolve the question of the cause or causes of the woman’s injuries in a single action.

(20%) Commonality. Finally, joinder of defendants requires that there be at least one “question of law or fact common to all defendants.” Here, there are several common questions. The woman’s claim against each defendant raises questions of the nature and extent of the woman’s injuries, the precise cause of those injuries, and whether the woman was herself responsible for causing the original accident (and thus responsible for some part of her injuries).

[NOTE: Fed. R. Civ. P. 19 (“Required Joinder of Parties”) is not applicable, as the Supreme Court has held that joint tortfeasors, as here, are not required parties under Rule 19 and are only permissive parties under Rule 20. *Temple v. Synthes Corp., Ltd.*, 498 U.S. 5 (1990).]

Point Two (50%)

Under Fed. R. Civ. P. 14(a)(1), CarCo may file a third-party complaint (impleader) against LockCo, thereby joining LockCo to the action as a third-party defendant.

A defendant in an action may bring a third person into the action under limited circumstances. Fed. R. Civ. P. 14(a)(1) provides in relevant part: “A defending party may, as third-party plaintiff, serve a summons and complaint on a nonparty who is or may be liable to it for all or part of the claim against it.”

This rule establishes two requirements for a defendant to implead a nonparty. First, the defendant must allege that the nonparty “is or may be liable” to the defendant. Second, the nonparty’s liability to the defendant must be “for all or part of the claim against” the defendant.

The facts of this problem are a good example of a case in which a defendant may properly implead a third party. The woman has sued CarCo for damages based on a claim that the seat belt in the car manufactured by CarCo was defective. CarCo, in turn, alleges that LockCo is primarily responsible for any defect in the seat belt because LockCo provided CarCo with a defective locking mechanism for that seat belt. Thus, CarCo claims that LockCo must indemnify CarCo for any damages CarCo may owe to the woman. In short, CarCo has alleged (in the language of Rule 14) that LockCo “is or may be liable to [CarCo] for all or part of the claim against [CarCo].” Under such circumstances, CarCo is allowed to implead LockCo. *See* 6 Charles Alan Wright et al., *Federal Practice and Procedure* § 1446 (3d ed.) (indemnity claim may be brought by impleader under Rule 14).

[NOTE: It was appropriate for CarCo to serve and file its third-party complaint without first seeking court permission. Under Rule 14, a defendant can serve a summons and complaint on a nonparty without leave of court if the defendant acts within 14 days of serving its answer, as CarCo did here. Fed. R. Civ. P. 14(a)(1).

Examinees should be expected to understand that impleading a third-party defendant under Rule 14, as CarCo seeks to do here, is NOT a form of joinder governed by either Rule 19 or Rule 20 of the Federal Rules of Civil Procedure. Examinees who offer a joinder analysis should receive no credit unless they demonstrate an understanding of the test for impleader: “a nonparty who is or may be liable” to another defendant “for all or part of the claim against it.”

Some examinees may discuss whether a federal district court would have subject-matter jurisdiction (most likely supplemental jurisdiction) over an indemnification claim against LockCo. Such a discussion is outside the scope of the question and should be disregarded. The call of the question asks only whether the Federal Rules of Civil Procedure allow CarCo to implead LockCo.]

FEBRUARY 2020 MEE

ANALYSIS 4–SECURED TRANSACTIONS

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1)(a) What is required to create an enforceable security interest?
- (1)(b) Can a security agreement encumber a debtor’s assets that are created or acquired after the security agreement is entered into?
- (2)(a) May a secured party that has a security interest in a payment obligation notify the obligor on the payment obligation that payments should be made to the secured party?
- (2)(b) If an obligor on a payment obligation pays the original obligee after having received a notice from a secured party directing payments to be made to the secured party, is the obligor discharged from its obligation?

DISCUSSION

Summary

An enforceable security interest in collateral exists when the secured party has given value to the debtor, the debtor has rights in the collateral, and the debtor has authenticated an agreement (a “security agreement”) that describes the collateral and grants the secured party a security interest in it. Here, those requirements are satisfied. Further, a security agreement may create a security interest in “after-acquired collateral” such as Construction Company’s right to be paid by the developer.

After default by its debtor, a secured party with a security interest in a payment right may notify the “account debtor” (the person who owes payment) that payment must be made to the secured party. After receipt of such notification, the account debtor must pay the secured party, and the obligation is not discharged if the account debtor pays the assignor. Thus, the developer’s payment to Construction Company did not discharge its obligation, and the developer must pay \$450,000 to Bank.

Point One(a) (25%)

Bank and Construction Company entered into a security agreement that created an enforceable security interest in Construction Company’s right to be paid with respect to any contract for the construction or repair of bridges or roads.

A creditor (“secured party”) has an enforceable security interest in collateral when (1) the creditor has given value to the debtor, (2) the debtor has rights in the collateral, and (3) the debtor has authenticated (signed or its electronic equivalent) a security agreement describing the collateral. *See* UCC § 9-203. Here, Bank has given value by loaning money to Construction Company, Construction Company has rights in the collateral (its right to payment under its construction contract), and the company’s president signed an agreement describing the collateral and granting Bank a security interest in it. The description of the collateral is sufficient because it “reasonably identifies what is described.” UCC § 9-108. Thus, Bank has an enforceable security interest in that payment right. (The payment right is an “account” because it is a right to payment of a monetary sum for services rendered or to be rendered. UCC § 9-102(a)(2).)

[NOTE: In this problem, it does not matter whether the security interest is perfected or not. Examinees should not be penalized for discussing perfection in general terms or for noting the absence of any evidence of perfection. However, an answer that concludes that the bank’s interest is unenforceable because it is unperfected is incorrect.]

Point One(b) (25%)

The security agreement was sufficient to create a security interest in Construction Company’s right to payment under the contract with the developer even though that contract, and the payment right under it, did not exist until after the security agreement was entered into.

A security agreement “may create or provide for a security interest in after-acquired collateral” (i.e., collateral that is created or that the debtor acquires after the agreement is executed). UCC § 9-204(a). Thus, the fact that Construction Company’s right to payment from the developer did not exist at the time the security agreement was entered into does not prevent the creation of a security interest in that right on behalf of Bank. Once Construction Company entered into the contract with the developer, all three elements of an enforceable security interest existed—value (the loan) had been given, the debtor now had rights in the collateral (the payment right), and the debtor had authenticated a security agreement containing a description of the collateral. Thus, Bank had an enforceable security interest in Construction Company’s right to be paid under the later contract with the developer.

Point Two(a) (20%)

Because Construction Company had defaulted under the loan and security agreement, Bank had the right to direct the developer to make payment to Bank.

Bank had a security interest in all rights of Construction Company to be paid with respect to any contract for the construction or repair of bridges or roads. That collateral constitutes “accounts” (UCC § 9-102(a)(2)), and the developer is the “account debtor” with respect to amounts owed by the developer under its contract with Construction Company. UCC § 9-102(a)(3).

Because the debtor (Construction Company) had defaulted under the loan and security agreement, the secured party (Bank) had the right to notify the account debtor (the developer) to make payment of the account directly to Bank. UCC § 9-607(a)(1).

Point Two(b) (30%)

Once the developer received the September 1 letter from Bank, it could discharge its payment obligation under its contract with Construction Company only by paying Bank.

The developer was an “account debtor” on an “account.” *See* Point Two(a). An account debtor may discharge its obligation on an account by paying its original obligee only until the account debtor has received a notification that is authenticated by that obligee or its assignee (including a secured party) that an assignment has occurred and that payment should be made to the assignee; thereafter, the account debtor may discharge its obligation only by paying the assignee and is not discharged by paying the original obligee. UCC § 9-406(a). (The term “assignment” includes the grant of a security interest. *See* UCC § 9-102, cmt.) On September 3, the developer received a letter, signed on behalf of Bank, informing the developer about the security interest and directing it to make payment of its obligation to Bank. From that point forward, the developer could not discharge its obligation by paying Construction Company. Thus, the obligation is still owed and Bank is entitled to payment.

[NOTE: Examinees may note that the developer has a right to request reasonable proof that the assignment of the claim was made to Bank. UCC § 9-406(c). This is an accurate statement of law, but the issue is not raised by the facts.]

[NOTE: Because the effect of Bank’s security interest on the developer’s payment obligation is governed by UCC Article 9 as described in Points Two(a) and Two(b), analysis of that effect under the common law of contracts is displaced by UCC Article 9 and should not be given credit. However, an examinee who incorrectly concludes in response to call #1 that Bank does not have a security interest in Construction Company’s right to be paid by the developer for the road-building project might then analyze call #2 under general contract law principles; in that case, the examinee should be given some credit for a thoughtful analysis.]

FEBRUARY 2020 MEE ANALYSIS 5–AGENCY

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Is Linda liable to the sign shop for the purchase price of the signs?
- (2) Is the driver liable to the sign shop for the purchase price of the signs?
- (3) Even though the driver was an independent contractor, is Linda vicariously liable to the customer for the injuries resulting from the driver's negligence?
- (4) Is Linda directly liable to the customer for the injuries the customer sustained?

DISCUSSION

Summary

Linda (the principal) is liable to the sign shop even though the driver (her agent) acted without actual authority. The driver had apparent authority to enter into the contract because the business card given to the sign shop owner at Linda's direction manifested Linda's consent to having the driver purchase signs as agent for her store. Further, given that the card had no stated limitation on price or mode of purchase, the driver had apparent authority to enter into a contract at a reasonable price on credit.

Even though the driver (the agent) exceeded his actual authority, he is not liable to the sign shop because Linda (the principal) was disclosed and is solely liable to the sign shop.

Linda probably is vicariously liable to the customer for injuries resulting from the driver's negligence because the driver was acting for Linda with apparent authority; the customer, based on conversations with Linda, believed that the driver was Linda's agent; and the driver's negligent actions occurred while he was making a delivery to the customer. Linda's vicarious liability arises even though the driver was acting as an independent contractor, not as Linda's employee.

Linda is also directly liable to the customer because of her negligent selection of the driver as an agent for her store, given that she was aware of his record of negligent driving.

Point One (25%)

Linda is liable to the sign shop on the contract to buy the signs because the driver, although he did not have actual authority to purchase the signs for \$450, acted with apparent authority when purchasing the signs on credit at a reasonable price.

Generally, an agent has actual authority when he reasonably believes, based upon the principal's manifestations to him, that the principal wants him to act. Restatement (Third) of Agency § 2.01; Restatement (Second) of Agency § 7. Here, although Linda (the principal) clearly manifested to the driver (the agent) that he was to purchase signs for the delivery van, she made clear that he was not to purchase signs for more than \$300. Thus, the driver had no actual authority to bind Linda to a contract for the purchase of signs for \$450.

Nonetheless, an agent has apparent authority to bind a principal to a third party when the third party reasonably believes that the agent has authority to bind the principal and that belief is based upon the principal's manifestations to the third party. *See* Restatement (Third) of Agency § 2.03 ("belief is traceable to the principal's manifestations"); Restatement (Second) of Agency § 8 ("in accordance with . . . manifestations to such third persons"). In particular, "apparent authority . . . is created as to a third person by written or spoken words or any other conduct of the principal which, reasonably interpreted, causes the third person to believe that the principal consents to have the act done on his behalf by the person purporting to act for him." Restatement (Second) of Agency § 27; *accord*, Restatement (Third) of Agency § 2.03. If the principal manifests to the third person that the agent is authorized to conduct a transaction, "there is apparent authority in the agent to conduct it in accordance with the ordinary usages of business . . . unless the third person has notice that the agent's authority is limited." Restatement (Second) of Agency § 49 cmt. b; *see also* Restatement (Second) of Agency § 61 cmt. a (ordinary usage includes the purchase of goods at any reasonable price).

Here, although the driver did not have actual authority to spend \$450 to purchase the signs, he had apparent authority to do so. The business card given to the sign shop owner was a manifestation traceable to Linda that the driver had authority to purchase signs for her store. Thus, the sign shop owner could reasonably rely on this card and assume that the driver had authority to purchase goods on credit at a reasonable price. The \$450 price was reasonable because such signs range in price from \$100 to \$500 per pair.

[NOTE: An examinee who attempts to distinguish the liability of Linda and that of the store should receive no credit. Linda operates her store as a sole proprietorship. Thus, for purposes of liability, Linda and the store are the same.

An examinee who discusses ratification by Linda of the sign-shop contract should receive no credit. Here, there was apparent authority for the sign-shop contract, and furthermore, there are no facts to support that there were any subsequent actions by the woman that represented an affirmance of an unauthorized transaction. *See* Restatement (Third) of Agency § 4.01(1), (2); Restatement (Second) of Agency §§ 82, 83.

An examinee might note that the sign contract is governed by UCC Article 2. This is accurate but does not change the analysis. Even in contracts governed by Article 2, common law agency principles apply. UCC § 1-103(b).]

Point Two (25%)

The driver (the agent) is not liable to the sign shop on the contract because Linda (the principal) was a disclosed principal and is liable on the contract, even though the driver breached an implied warranty of authority when he entered into the contract on Linda's behalf.

When an agent with actual or apparent authority contracts on behalf of a disclosed principal, a contract arises between the principal and the third party, but not between the agent and the third party unless they otherwise agree. Restatement (Third) of Agency § 6.01 (agent not a party if he had actual or apparent authority); Restatement (Second) of Agency § 328 (agent not liable if he has power to bind principal). Here, although the driver exceeded his actual authority when he contracted to purchase a pair of signs for \$450, he nonetheless had apparent authority to enter into the contract with the sign shop on behalf of Linda's store, which was a disclosed principal (*see* Point One). Thus, the driver is not liable on the sign-shop contract.

This conclusion is not affected by the driver's lack of actual authority. Generally, if a person who purports to contract with a third party on behalf of another has no power to act for the other, the person is liable to the third party for breach of implied warranty of authority. Restatement (Third) of Agency § 6.10; Restatement (Second) of Agency § 329. But the comments to section 6.10 note: "If a principal is bound to a third party on the basis of an agent's apparent authority, the agent is not subject to liability to the third party on the agent's implied warranty of authority, although the agent acted without actual authority." Restatement (Third) of Agency § 6.10, cmt. b. *Accord*, Restatement (Second) of Agency § 329. Thus, even though the driver acted without actual authority, he is not liable for breaching an implied warranty of authority because Linda is bound based on the driver's apparent authority.

Point Three (25%)

Linda probably is vicariously liable to the customer because the driver was acting with apparent authority at the time he negligently injured the customer, given that the customer reasonably believed that the driver was acting as agent for Linda, and the driver's negligence occurred while he was making a delivery to the customer.

Under the doctrine of respondeat superior, an employer (master) is vicariously liable—that is, strictly liable regardless of the employer's fault—for the physical torts of an employee (servant) where the tort is committed within the scope of employment. *See* Restatement (Third) of Agency § 7.03(2)(a); Restatement (Second) of Agency § 219(1). Although a principal generally is not vicariously liable for the physical torts of non-employee agents (*see* Restatement (Third) of Agency § 7.07 cmt. f ("Definition of employee"); Restatement (Second) of Agency § 250), a principal can be vicariously liable under some circumstances to a third person for torts committed by a non-employee agent where the agent acts with apparent authority. Restatement (Third) of Agency § 7.08; Restatement (Second) of Agency § 265.

Under the Restatement (Third), a principal "is subject to vicarious liability for a tort committed by an agent in dealing . . . with a third party on . . . behalf of the principal when actions taken by the agent with apparent authority constitute the tort" Restatement (Third) of Agency § 7.08. Under the Restatement (Second), the non-employer principal is liable only where the third party *relies* upon the appearance of agency. Restatement (Second) of Agency § 265 (Illustration 4) (emphasis added). While the blackletter of the Third Restatement omits the reliance language found in the Second Restatement, comment b indicates that reliance is built into the liability rule because of the apparent authority requirement. It states: "An agent acts with apparent authority with regard to a third party when the third party reasonably believes that the agent or other actor has authority to act on behalf of the principal and that belief is traceable to manifestations made by the principal."

Here, although Linda is not vicariously liable for the driver's negligence under the doctrine of respondeat superior because the driver is an independent-contractor agent and not an employee, Linda is likely to be held vicariously liable to the customer because the driver's actions in making the delivery to the customer with apparent authority constituted the tort, and the customer clearly relied upon the appearance of apparent authority.

Here, the customer was negligently struck by the van after the customer went into the driveway to wait for the van that Linda had said would be arriving. Given that the customer went to the driveway when she saw the signs on the sides of the van, the customer reasonably believed that the van that struck her was the van sent by Linda. Both facts are more than sufficient to create apparent authority and the necessary reliance to support a finding of vicarious liability on the part of Linda.

Point Four (25%)

Linda is directly liable to the customer for the driver's negligent act because Linda was negligent in the selection of the driver as her agent, and her negligence was the cause of the harm to the customer.

Whether or not a principal is vicariously liable for actions of an agent, "[a] principal who conducts an activity through an agent is subject to liability for harm to a third party caused by the agent's conduct if the harm was caused by the principal's negligence in selecting, training, retaining, supervising, or otherwise controlling the agent." Restatement (Third) of Agency § 7.05(1); *see also* Restatement (Second) of Agency § 213(b) ("person conducting an activity through servants or other agents is subject to liability . . . if he is negligent or reckless . . . in the employment of improper persons . . . in work involving risk of harm to others.")

The comments to the Restatement (Third) of Agency explain this "negligent selection" rule:

A foreseeable risk of harm may be created when one person conducts an activity through another person. For example, the actor chosen for a task may lack competence to perform it without endangering others. A task may require using an instrumentality that is dangerous to others unless the user has appropriate skill or supervision. Some tasks require performance in settings that pose a foreseeable risk of criminal or other intentional misconduct against third parties or their property unless the actor is chosen with due care in reference to that risk.

Restatement (Third) of Agency § 7.05(1) comment b.

Here Linda had reasons to suspect that the driver she hired was prone to driving negligently. The website that Linda searched showed recent customer complaints about the driver's poor driving and reported that he had been sued three times for negligent driving and held liable in each case. Linda ignored these warning signals because the driver's hourly rate was low, enabling her to reduce her delivery costs, and because the driver had his own van. Further, the driver's negligent driving of the van was the cause of the customer's injuries. Thus, there is a sufficient basis for finding that Linda's negligent selection of the driver was the cause of the customer's injuries. Under the "negligent selection" rule, Linda is directly liable to the customer.

FEBRUARY 2020 MEE
ANALYSIS 6–EVIDENCE/CRIMINAL LAW

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Under the common law, what affirmative defenses to battery are available to the woman?
- (2)(a) If the eyewitness testifies, should the judge permit the eyewitness to repeat out-of-court statements made by an unavailable witness (the friend) and to describe the woman's nonverbal responses (nodding her head and giving a thumbs-up signal)?
- (2)(b) If the eyewitness testifies, should the judge permit the eyewitness to testify that she has seen the woman frequently and that the woman is always "arguing with people, acting out, and generally causing problems"?
- (3)(a) If the eyewitness testifies, should the judge permit cross-examination about the eyewitness's five-year-old shoplifting conviction?
- (3)(b) If the eyewitness testifies, should the judge permit cross-examination about a letter from the eyewitness to the man?

DISCUSSION

Summary

On these facts, under the common law, the woman may be able to establish that she acted in self-defense. This affirmative defense will succeed if the woman can prove that (1) the man's shouting and poking her in the shoulder with his finger caused her to have a reasonable belief that she was in imminent danger of unlawful bodily harm from the man and (2) her punching him in the nose was the amount of force reasonably necessary to prevent such harm.

Testimony from the eyewitness recounting the friend's out-of-court statement to the woman and the woman's nonverbal responses is relevant because it makes the woman's self-defense claim less probable. The friend's statement is nonhearsay because it is offered for the purpose of providing context for the woman's assertive conduct. Testimony describing the woman's assertive conduct, if it is offered to prove the truth of the matter asserted, should be admitted either (1) as a nonhearsay opposing party's adopted statement, *see* Fed. R. Evid. 801(d)(2)(B), or (2) under the hearsay exception for statements of intent, *see* Fed. R. Evid. 803(3).

The eyewitness's testimony that the woman frequently argues with people, acts out, and generally causes problems is inadmissible character evidence. *See* Fed. R. Evid. 404(a) and 405. This testimony is not admissible as a prior crime, wrong, or act. *See* Fed. R. Evid. 404(b).

Cross-examination about the eyewitness's five-year-old shoplifting conviction to impeach her character for truthfulness probably should not be permitted. *See* Fed. R. Evid. 609(a)(2). Here, the conviction was for a crime punishable by imprisonment for less than one year, and the elements of the crime of shoplifting, as proved or admitted, usually do not require an act of dishonesty or false statement.

Defense counsel should be permitted to cross-examine the eyewitness about her letter to the man to show the eyewitness's bias.

Point One (20%)

Under the common law, the woman may be able to establish that she acted in self-defense.

At common law, a person charged with a crime involving the use of force (*e.g.*, battery) can raise the affirmative defense of self-defense. *See generally* Wayne LaFare, Criminal Law § 10.4 (6th ed. 2017). Self-defense provides a defense when “a person reasonably believes that force is necessary to protect himself . . . from what he reasonably believes to be unlawful physical harm about to be inflicted by another” *United States v. Milk*, 447 F.3d 593, 598 (8th Cir. 2006). To establish a claim of self-defense based upon the use of non-lethal force, a defendant must prove that she (1) reasonably believed that the force was necessary to protect her from another person's imminent use or attempted use of unlawful force and (2) used an amount of force proportionate to the force encountered. *See, e.g., Stralow v. State*, 2016 WL 625239 (Tex. Ct. App. 2016); *see also* Model Penal Code § 3.04 (noting that the use of force is “justifiable when the actor believes that such force is immediately necessary for the purpose of protecting himself against the use of unlawful force by such other person on the present occasion”). In some jurisdictions, a defendant also must prove either (1) that she was not the initial aggressor or (2) if she were the initial aggressor, that she withdrew from or abandoned the conflict before acting in self-defense.

First, the woman should be able to establish that she had a reasonable belief that force was necessary to protect her from the man's unlawful use of force against her. At the time she punched the man in the nose (the act constituting the charged crime of battery), the man was using unlawful force against her by repeatedly poking her shoulder with increasing force. *See, e.g., State v. Glassman*, 772 A.2d 863, 867 (Me. 2001) (evidence that victim pushed defendant was sufficient for jury instruction on self-defense). The repeated shoulder poking was an actual, rather than threatened, use of unlawful force. Because the poking involved increasing force, the man's actions were already causing or were reasonably likely to cause the woman imminent physical harm. In general, self-defense is warranted when a defendant reasonably fears imminent physical harm. However, defendants have also successfully argued self-defense in cases where they confronted unlawful force of a type not likely to cause physical harm (*e.g.*, a non-injurious but offensive touching). *See, e.g., Whisman v. State*, 2012 WL 4513773 (Nev. 2012) (a person may use reasonable force to resist any offense against their person, including an “unlawful touching that does not result in a physical injury”); *State v. Bruder*, 676 N.W.2d 112, 115 (S.D.

2004) (same). Accordingly, on these facts, the woman can establish that she reasonably believed that she needed to use physical force to protect herself from the man's unlawful use of force.

Second, the woman must prove that her response (punching the man in the nose) involved force proportionate to the unlawful force encountered. *See generally* Wayne LaFave, Criminal Law, Self-Defense: Amount of Force, Chapter 10.4(b) (6th ed. 2017) ("In determining how much force one may use in self-defense, the law recognizes that the amount of force which he may justifiably use must be reasonably related to the threatened harm which he seeks to avoid.") The man used his hand (rather than a weapon) to poke the woman, and the woman used her hand (rather than a weapon) to punch him in the nose. Ultimately, the question of whether a punch is a proportionate response to increasingly forceful poking is a factual question, *see, e.g., In re Savannah B.*, 2004 WL 119922 (Cal. App. 2014) ("[T]he question of whether a closed-fist punch in the face constitutes an excessive reaction to a push or shove is a factual question.").

Finally, in some jurisdictions self-defense requires a defendant to also prove either (1) that she was not the initial aggressor or (2) if she were the initial aggressor, that she withdrew from or abandoned the conflict before acting in self-defense. Here, the facts do not support a finding that the woman was the initial aggressor.

[NOTE: An examinee should not discuss self-defense in the context of a "stand your ground" statute because the call of the question requires a common law analysis. However, the analysis under many "stand your ground" statutes would be substantially similar.]

Point Two(a) (30%)

The eyewitness's testimony recounting the friend's out-of-court statement and the woman's responsive nodding of her head and giving a thumbs-up signal is relevant and not inadmissible hearsay.

The eyewitness's testimony recounting the friend's out-of-court statement to the woman ("If anyone annoys us today they will not be seeing this play—they'll be going to the hospital!") and describing her observation that the woman responded by nodding her head and giving a thumbs-up signal is relevant. Assuming that the woman argues that she acted in self-defense, as noted in Point One, the jury must decide whether her punch was justified under the circumstances. The eyewitness's testimony and the woman's response are relevant because they have some tendency to make "a fact of . . . consequence" (her reasonable belief that she needed to punch the man to protect herself) "less probable than it would be without the evidence" because together the evidence suggests that the woman might have punched the man simply because he annoyed her and with the intention of hurting him rather than stopping him from poking her. *See* Fed. R. Evid. 401.

The woman's nodding her head and giving a thumbs-up signal is assertive conduct. The friend's out-of-court statement is nonhearsay because it is offered for the purpose of providing context for the woman's assertive conduct. *See, e.g., United States v. Woods*, 301 F.3d 556, 561 (7th Cir. 2002) (noting that statements that prompt an adoptive admission are admissible either because they were adopted or to provide context). The friend's statement, if it is offered to prove the truth of the matter asserted, is a hearsay statement. *See* Fed. R. Evid. 801(c)(2).

However, the woman's statement (her assertive conduct) is admissible for two reasons. First, a statement is not hearsay if "[t]he statement is offered against an opposing party and . . . is one the party manifested that it adopted or believed to be true." *See* Fed. R. Evid. 801(d)(2). Here, the prosecution is offering a statement by the opposing party—the woman—against the opposing party to show that she adopted the friend's statement and/or believed it to be true. *See, e.g., United States v. Tocco*, 135 F.3d 116, 129 (2d Cir. 1998) (finding that a head nod in response to a statement constituted an adoptive admission).

Second, because the statement that the woman adopted was a statement of intent or plan, it would also be admissible under the hearsay exception for statements related to a declarant's "then-existing state of mind." *See* Fed. R. Evid. 803(3). For more than a century, courts have applied the *Hillmon* doctrine, which permits the use of such statements of intent by a declarant to prove the declarant's future conduct. *See Mut. Life Ins. Co. of New York v. Hillmon*, 145 U.S. 285 (1892); *Coy v. Renico*, 414 F. Supp. 2d 744, 766–771 (E.D. Mich. 2006). Here, the friend's statement, which the woman adopted, can be used to prove that the woman intended to physically injure anyone who annoyed her and her friend, which makes her self-defense claim less probable. *See* Fed. R. Evid. 803(3).

[NOTE: If the woman's assertive conduct is not offered to prove the truth of the matter asserted, it would still be relevant and can be admitted as circumstantial evidence of the woman's state of mind (i.e., frustration, anger, hostility). Such evidence of the woman's state of mind would be relevant to show that the woman acted out of pique and not because she reasonably believed it was necessary to defend herself against a threat from the man. Examinees should not discuss the confrontation clause because they are instructed not to discuss constitutional issues. Therefore, examinees should not receive credit for discussing confrontation clause precedent, including *Crawford v. Washington*, 541 U.S. 36 (2004).]

Point Two(b) (25%)

The eyewitness's testimony about the woman's public behavior should not be permitted because it is inadmissible character evidence.

Although the eyewitness's testimony that the eyewitness recognized the woman would be relevant, under Rule 404(a)(1) evidence of a person's wrongs or other acts is "not admissible to prove that on a particular occasion the person acted in accordance with the character or trait." Here, Rule 404(a)(1) bars admission of the eyewitness's testimony that the woman is always "arguing with people, acting out, and generally causing problems" because this character evidence would be relevant only to support the impermissible propensity inference. *See, e.g., Delozier v. Evans*, 763 P.2d 986, 991 (Ariz. Ct. App. 1988) ("The trial court excluded testimony offered to show that Delozier was combative and aggressive when intoxicated.").

Although character evidence may be admissible against a criminal defendant, this occurs only after a defendant presents evidence of her own good character (e.g., evidence that she has a "peaceable" disposition) or evidence of the victim's bad character (e.g., evidence that the victim has a "violent" disposition). *See* Fed. R. Evid. 404(a)(2)(A) & (B). Here, the woman has not offered any evidence that would "open the door" to the eyewitness's testimony. The woman's affirmative defense of self-defense does not depend on showing good character.

Finally, evidence of prior bad acts of any party or witness can be admitted for non-propensity purposes (i.e., to prove motive, opportunity, intent, plan, etc.). *See* Fed. R. Evid. 404(b)(2). However, the circumstances here afford no reasonable argument that the eyewitness's testimony could be used for any relevant non-propensity purpose.

Point Three(a) (15%)

Cross-examination about the eyewitness's five-year-old shoplifting conviction should probably not be permitted to impeach her character for truthfulness.

Rule 609 governs the impeachment of witnesses using prior convictions. Under Rule 609(a)(1), criminal convictions may be used to attack a witness's character for truthfulness if the crime was punishable by death or by imprisonment for more than one year. Fed. R. Evid. 609(a)(1). Here, the shoplifting conviction does not satisfy Rule 609(a)(1) because it was punishable by a maximum possible sentence of just six months in jail.

Under Rule 609(a)(2), "for any crime regardless of the punishment, the [conviction] evidence must be admitted if the court can readily determine that establishing the elements of the crime required proving—or the witness's admitting—a dishonest act or false statement." Most courts have found that shoplifting normally does not satisfy Rule 609(a)(2) because it is a crime that can be completed without an act of dishonesty or false statement. *See, e.g., United States v. Dunson*, 142 F.3d 1213, 1215 (10th Cir. 1998) (perceiving no error in district court's conclusion that a shoplifting conviction fell outside the scope of Rule 609(a)(2)). In fact, some have held that most theft crimes do not satisfy Rule 609(a)(2) because they involve acts of stealth and not dishonesty. *See, e.g., United States v. Washington*, 702 F.3d 886, 893 (6th Cir. 2012) ("Theft is a prime example of a crime of stealth, and it has been distinguished from crimes of dishonesty in most federal circuits"); *United States v. Sellers*, 906 F.2d 597, 603 (11th Cir. 1990) ("crimes such as theft, robbery, or shoplifting do not involve 'dishonest or false statement' within the meaning of Rule 609(a)(2)"); *United States v. Yeo*, 739 F.2d 385, 387 (8th Cir. 1984) ("Theft, which involves stealth, . . . is not characterized by an element of deceit . . ."); *United States v. Entrekin*, 624 F.2d 597, 598–99 (5th Cir. 1980) (shoplifting does not involve dishonesty or false statement within the meaning of Rule 609(a)(2)). A court taking this view would normally not allow the eyewitness's five-year-old shoplifting conviction to be used for impeachment.

However, Rule 609(a)(2) is not an absolute bar to the use of a shoplifting conviction to impeach a person's character for truthfulness. If the woman's counsel can establish that the eyewitness's shoplifting conviction required proof of, or admission to, a dishonest act or false statement by the eyewitness, the court may admit that conviction for impeachment purposes. *United States v. Veater*, 2012 WL 4882300 (D. Utah 2012) (citing *Dunson*, 142 F.3d at 1215–16) (noting that "shoplifting convictions are not automatically a crime involving dishonesty or false statement within the meaning of Rule 609(a)(2)," but that "shoplifting convictions are also not automatically excluded if it can be shown that it involved fraudulent or deceitful conduct" and that "the court need not ferret it out; that responsibility [to prove that a prior conviction required proof of, or admission to, a dishonest act or false statement by the defendant] falls squarely on the proponent's shoulders").

[NOTE: Although the majority view is that a shoplifting conviction could not be used for impeachment absent proof that it was accomplished by “fraudulent or deceitful conduct,” there are some jurisdictions whose courts take the view that theft is inherently a crime involving dishonesty or false statement. *See, e.g., State v. Page*, 449 So. 2d 813, 815 (Fla. 1984); *People v. Spates*, 395 N.E.2d 563, 568 (Ill. 1979); *State v. Johnson*, 460 N.E.2d 625, 629 (Ohio Ct. App. 1983) (stealing is a dishonest act); *Cline v. State*, 782 P.2d 399, 400 (Okla. Crim. App. 1989) (stealing is “universally regarded as conduct which reflects adversely on a man’s honesty and integrity”). In such jurisdictions, the eyewitness’s shoplifting conviction could be used to impeach the eyewitness’s character for truthfulness.]

Point Three(b) (10%)

Defense counsel should be permitted to cross-examine the eyewitness about her letter to the man to show the eyewitness’s bias in favor of the man.

Although impeachment by showing bias is not addressed by the Federal Rules of Evidence, it predates the creation of the Rules and has traditionally been widely permitted. In *United States v. Abel*, 469 U.S. 45 (1984), the Supreme Court held that bias has always been a legitimate and permissible form of impeachment.

Here, the eyewitness’s letter thanking the man “for 10 years of a great friendship” suggests that the eyewitness is biased in favor of the man, meaning that defense counsel could use it to impeach her. *See, e.g., Varnado v. Yates*, 2009 WL 2045981 (C.D. Cal. 2009) (“Of course, Nunley could have been impeached for possible bias because he was a longtime friend of [petitioner’s] and he knew Bryan.”). Use of the letter for these purposes does not raise hearsay concerns. Here, the letter would be offered to prove the eyewitness’s bias based on her belief that she and the man had shared “10 years of a great friendship,” a belief that has relevance to the eyewitness’s bias independent of the truth of the matter asserted. *See, e.g., United States v. Hudson*, 970 F.2d 948, 957 (1st Cir. 1992) (“As [the statements] were not being offered for the truth of the matter asserted, they were not hearsay in any respect.”).

[NOTE: Defense counsel would not be using the letter to establish the eyewitness’s *general* propensity for lying, so Rule 608(b)’s prohibition on the admission of extrinsic propensity impeachment evidence would not apply. *See, e.g., United States v. Thorn*, 917 F.2d 170, 176 (5th Cir. 1990) (“An exception to the prohibition against the use of extrinsic evidence to attack the credibility of a witness exists in cases in which the evidence tends to show bias or motive for the witness to testify untruthfully.”)]

Finally, it is not necessary for an examinee to discuss the Best Evidence Rule (Rule 1002) because the question does not ask about the admissibility of the letter. However, an examinee who properly addresses the issues discussed above and also considers the possibility that, if the letter is offered in evidence the Best Evidence Rule applies if the contents of the letter must be proved, demonstrates an accurate understanding of the law.]

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JULY 2020 MEE
QUESTION 1 – EVIDENCE

A woman brought a tort action against a trucking company in a federal district court in State A one month after a traffic accident in State A. The woman had been driving a car that collided with a truck owned by the trucking company and driven by one of its employees. As a result of injuries sustained during the accident, the woman is permanently disabled and unable to work.

The diversity action, which is properly before the federal court, requires a determination of fault. The woman alleges that, at the time of the accident, the truck driver was driving under the influence of prescription narcotics and lost control of his truck on the highway, which caused the collision. The trucking company argues that the woman caused the accident by driving her car at an excessive speed.

The woman will seek to introduce the following three items of evidence:

1. In-court testimony from a trucking company representative that, less than one hour after the accident, the trucking company began an internal investigation into the accident, which resulted in the truck driver's being fired the next day.
2. A handwritten letter the woman received while she was recuperating in the hospital. The letter, dated one week after the accident, read: *"I am terribly sorry about the accident that I caused. It was all my fault. I was taking pain pills prescribed by my doctor and shouldn't have been driving."* The letter was signed with the name of the truck driver. The woman no longer has the original (hard copy) letter, but she has a photograph of the letter that she took with her cell phone.
3. In-court testimony from the truck driver's doctor that the truck driver has suffered from chronic pain for years and that she had prescribed a powerful narcotic to treat that pain one month before the accident. The doctor is licensed in State A, where she has treated the truck driver for many years.

The truck driver will be unavailable to testify at trial because neither party has been able to procure his attendance and his whereabouts are unknown. The woman's cell phone has been examined by a neutral computer expert, who reports that the photograph of the letter is clearly legible and that the image has not been altered in any manner. The doctor has informed the parties that she does not want to testify about her communications with her patient, the truck driver, and that she has had no contact with her patient since the week before the accident.

The defense team will seek pretrial to exclude all three items of evidence proffered by the woman. Assume that the judge will find all three items relevant under Rule 401 of the Federal Rules of Evidence and will refuse to exclude any item of evidence under Rule 403 of the Federal Rules of Evidence.

With respect to each item of evidence that will be proffered by the woman, identify and explain the most plausible objections that the trucking company's defense team could make, any plausible responses the woman's attorney should make to those objections, and how the court should rule.

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QUESTION 2 – CORPORATIONS & LLCS / CONSTITUTIONAL LAW

A shareholder of Retailer Inc., a publicly traded corporation in the retail business, is concerned about reports in a respected national business magazine that Retailer has been making large donations to a secretive political group, Americans Fighting Against Wrongdoing (AFAW). AFAW places television election advertisements supporting state and federal political candidates who AFAW believes are committed to fighting wrongdoing. The shareholder believes that Retailer's donations to AFAW do not promote Retailer's business in any way.

The shareholder, who owns 100 shares of Retailer stock, has decided to take action. The shares, which the shareholder has held for the past 10 years, have a current market value of \$5,000.

The shareholder has sent a letter to Retailer requesting that she be allowed to inspect all minutes of the meetings of Retailer's board of directors relating to donations made by Retailer to AFAW. The shareholder explains that her purpose is to confirm these donations and seek to have the board desist from further waste of corporate assets.

The shareholder has also sent a second letter to Retailer requesting that a proposed shareholder resolution be presented for a vote of the shareholders at the upcoming annual shareholders' meeting. The resolution reads: "We the shareholders of Retailer Inc. hereby resolve that Retailer's board of directors shall not approve any political expenditures by Retailer unless such expenditures are specifically authorized by a majority vote of all outstanding shares of Retailer." The shareholder explains, "This resolution is to stop the board from wasting corporate assets, including by making further donations to AFAW."

Retailer is incorporated in State X, which has adopted the Model Business Corporation Act (MBCA).

1. Under State X law, is the shareholder entitled to inspect the requested board minutes? Explain.
2. Under State X law, is the shareholder's proposed resolution a proper subject for submission to Retailer's shareholders for their vote? Explain.
3. Assuming that the resolution is proper for submission for shareholder action under State X law, would the resolution (if approved) infringe Retailer's First Amendment rights? Explain.

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QUESTION 3 – DECEDENTS' ESTATES / TRUSTS & FUTURE INTERESTS

Ann, a successful entrepreneur, grew up in a small town in State A. Ann's family could not afford to send her to college, but a group of local store owners, sensing Ann's potential, paid Ann's tuition for college and graduate business school. Twenty years later, in honor of the store owners, Ann created a trust and funded it with \$1,000,000.

Under the terms of the trust, the trustee (a local bank) must annually use trust income to purchase and install seasonal plantings on all principal streets in the town where Ann grew up. The trustee is authorized to invade trust principal to purchase and install such plantings if the trust income is insufficient. The trust instrument further provides that the trust will last in perpetuity or until such time as the principal of the trust has been exhausted; no individuals are named as trust beneficiaries. Currently the trust's annual income is \$40,000 and the annual cost of seasonal plantings is anticipated to be about \$35,000.

Last week, Ann died unexpectedly and without a will. At the time of her death she had \$100,000 in a bank account in her name alone. Ann's uncle and niece survive her.

The personal representative of Ann's estate properly filed an action to set aside the \$1,000,000 trust on the ground that it is invalid under the common-law rule against perpetuities, which applies in State A. The personal representative also requested judicial approval of a proposal to distribute the assets of the allegedly invalid trust, with the other assets of Ann's estate, to Ann's niece but not to her uncle. Ann's uncle contends that he is entitled to half of Ann's estate.

State A has adopted the Uniform Trust Code.

1. May the trust endure for its stated duration (in perpetuity or until its assets are exhausted)? Explain.
2. Assuming that the trust cannot endure for its stated duration, could a court preserve the trust for any period of time to carry out Ann's intentions? Explain.
3. To whom should Ann's estate be distributed and in what shares? Explain.

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QUESTION 4 – FAMILY LAW

Ten years ago, a husband and wife were married during a one-day stopover in State A while they were traveling by train on a cross-country vacation. After this trip, the husband and wife returned to their home in State B.

Five years ago, the couple had a child, Sarah, in State B. The wife then quit her job and stayed at home to serve as Sarah's primary caregiver.

Two years ago, the husband was seriously injured when he was struck by a car while walking across a street. After the accident, the husband began drinking to excess. He also became physically and emotionally abusive toward his wife and was convicted of assault after a physical attack led to her hospitalization. The husband has not worked since his injury.

Nine months ago, the wife took Sarah and moved to State A, where the wife's sister lives. The wife did not tell her husband that she was leaving, but she called him a week after arriving in State A, gave him her address, and told him that she intended to remain in State A with Sarah. The wife found a job in State A and moved out of her sister's home and into a nearby apartment. The husband made no effort to contact the wife or Sarah.

One week ago, the wife commenced a divorce action against the husband in State A. In this action, the wife seeks custody of Sarah and a share of the couple's marital property. The husband was personally served with a summons and divorce complaint at his home in State B.

The husband has never been to State A except for the one-day stopover when he and the wife were married there. He owns no assets in State A.

State A law allows for both fault-based and no-fault divorce and requires that either the divorce plaintiff or the defendant have been residing in State A for six months before the plaintiff may file a divorce petition. State A has adopted the Uniform Child Custody Jurisdiction and Enforcement Act (UCCJEA).

1. Does a State A court have jurisdiction to grant the wife
 - (a) a divorce? Explain.
 - (b) sole physical custody of the couple's daughter, Sarah? Explain.
 - (c) a share of the couple's marital property? Explain.
2. Assuming that the State A court has jurisdiction, could the court grant the wife
 - (a) a divorce based on the husband's fault? Explain.
 - (b) sole physical custody of Sarah? Explain.

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QUESTION 5 – SECURED TRANSACTIONS

On February 1, a company borrowed \$100,000 from a bank. Pursuant to an agreement signed by both parties, the company granted the bank a security interest in “all of [the company’s] present and future inventory, accounts, and equipment” to secure its obligation to repay the loan. Later that day, the bank filed, in the appropriate filing office, a properly completed financing statement listing the company as the debtor and the bank as the secured party and indicating “inventory, accounts, and equipment” as collateral.

On March 1, the company bought a power generator, for use in the company’s business, from a manufacturer. The purchase price of the power generator was \$24,000. The manufacturer agreed that the company could pay the purchase price in 12 monthly installments of \$2,000 each. Pursuant to an agreement signed by both parties, the company granted the manufacturer a security interest in the power generator to secure the company’s obligation to make all the installment payments. Later that day, the manufacturer filed, in the appropriate filing office, a properly completed financing statement listing the company as the debtor and the manufacturer as the secured party and indicating the power generator as collateral. The manufacturer delivered the power generator to the company on March 3.

On April 1, the company entered into an agreement entitled “Lease Agreement” with a supplier. The Lease Agreement, signed by both parties, stated that the supplier was leasing to the company a retinal scanner for use in the company’s security system for a fixed term of three years with no right of cancellation by either party. The Lease Agreement also provided that, if the company made each of the 36 required monthly lease payments of \$3,000, it would have the option to become the owner of the retinal scanner for no additional consideration. The supplier delivered the retinal scanner to the company on April 2. The supplier did not file a financing statement with respect to this transaction.

The company has defaulted on its obligations to the bank, the manufacturer, and the supplier. The bank and the manufacturer are each asserting an interest in the power generator, and the bank and the supplier are each asserting an interest in the retinal scanner.

1.
 - (a) Does the bank have an enforceable interest in the power generator? Explain.
 - (b) Does the manufacturer have an enforceable interest in the power generator? Explain.
 - (c) Assuming that both the bank and the manufacturer have enforceable interests in the power generator, whose interest has priority? Explain.
2.
 - (a) Does the bank have an enforceable interest in the retinal scanner? Explain.
 - (b) Does the supplier have an enforceable interest in the retinal scanner? Explain.
 - (c) Assuming that both the bank and the supplier have enforceable interests in the retinal scanner, whose interest has priority? Explain.

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QUESTION 6 – REAL PROPERTY

The owner of a two-story building converted it into three two-bedroom apartments. The owner occupied the ground-floor apartment; the other two apartments were rental units. All the apartment interiors had a similar modern look and design. In the apartments, the owner installed standard modern light fixtures in all rooms except the master bedroom of her own apartment, where she installed a gold-plated chandelier. The chandelier was of an ornate, old-fashioned style and did not match the modern light fixtures in her apartment or the other apartments. But because the owner had inherited the chandelier from her mother, she had a strong sentimental attachment to it. In her living room the owner also placed a 65-inch television on a wall mount affixed to the wall over the fireplace. The conversion was completed last year, and immediately upon completion, the owner moved into her apartment.

The owner then wrote the following advertisement and paid to have it published in the local newspaper:

Two 2-bedroom apartments for rent. Only professional women (but not lawyers) need apply.

Eight individuals applied to rent the apartments. Three were male accountants. Five were women, three of whom were lawyers. The owner told the men that she “[does] not rent to men.” She then rented one of the apartments to a female architect and the other to a female physician. Both leases ended last month and were not renewed. The owner then decided to sell the building.

Last week, the owner showed the apartment building to a prospective buyer. While showing her own apartment, the owner commented to the buyer that the chandelier had come from her mother and meant a lot to her. After seeing all three apartments, the buyer agreed to buy the building. The sales contract, signed by both parties, does not mention fixtures, and the owner and the buyer now disagree on whether the chandelier and the wall-mounted television are fixtures included in the sale of the building.

The state has adopted a fixtures code, of which Sections 1 and 2 provide as follows:

- (1) Unless the terms of a residential real estate contract otherwise provide, upon the closing of the contract the seller shall deliver to the buyer the real property described in the contract, including all fixtures that were affixed or attached to the real property at the time the contract was signed.
 - (2) For purposes of Section 1, a fixture is an item of personal property affixed or attached to the real property by the seller unless a reasonable person would conclude, based upon all the facts and circumstances relating to the specific personal property, that the item of personal property at the time it was affixed or attached was not affixed or attached to the real property with the intent to make it a permanent part of the real property.
1. Did the owner violate the Fair Housing Act of 1968 by refusing to rent to men and lawyers? Explain.
 2. Did the owner or the newspaper publisher violate the Fair Housing Act of 1968 by publishing the owner’s rental advertisement? Explain.

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ANALYSIS 1 – EVIDENCE

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) In a tort action alleging negligence by a company employee, should a court exclude evidence that a defendant company fired the allegedly negligent employee one day after conducting an internal accident investigation?
- (2)(a) What evidence should a court require to authenticate a handwritten letter purportedly written by an unavailable person?
- (2)(b) If a writing (i.e., the letter) has been authenticated, but the original hard copy has been lost, should a court find an unaltered cell-phone photograph of the writing admissible under the "best evidence" rule?
- (2)(c) If a writing (i.e., the letter) is authenticated and satisfies the "best evidence" rule, should hearsay statements contained therein be admitted as statements against interest by an unavailable declarant?
- (3) Does the physician-patient privilege prevent a doctor from testifying about the condition and treatment of a patient now unavailable for trial if the patient voluntarily disclosed his own relevant medical information to a person injured in an accident, prior to the onset of litigation?

DISCUSSION

Summary

As to the evidence of the trucking company's investigation of the accident and firing of the truck driver, the trucking company could plausibly object to the admission of this evidence because the investigation and firing were subsequent remedial measures taken by the defendant and are inadmissible under FRE 407. The court should rule in favor of excluding this evidence.

The defense could plausibly object to admission of the truck driver's letter based on the following arguments: (1) it cannot be authenticated, (2) the photograph of the letter does not satisfy the best evidence rule, and (3) the letter itself is hearsay. The woman's attorney should respond as follows: (1) the cell-phone photograph of the handwritten letter can likely be authenticated through testimony from any lay or expert witness who can identify the truck driver's handwriting; (2) although the original (hard copy) letter has been lost, the unaltered cell-phone photograph satisfies the best evidence rule; and (3) although the letter is hearsay, it should be admitted under FRE

804(b)(3) as a statement against interest by an unavailable declarant. The court should reject all three defense objections and admit the image of the letter.

Finally, the defense could plausibly object that admission of the doctor's testimony would violate the physician-patient privilege. The court's decision will depend on applicable state law, but all jurisdictions recognize some form of physician-patient privilege. The court should apply the privilege and rule that the doctor need not testify. However, the court could admit the doctor's testimony based on a specific finding that the truck driver's voluntary disclosure of his use of pain pills in the letter to the woman effected an implied waiver of the physician-patient privilege limited to this relevant medical information.

Point One (15%)

In a case alleging negligence by a company employee, a court should exclude evidence that a defendant company fired the allegedly negligent employee one day after conducting an internal accident investigation because the investigation and firing are "subsequent remedial measures" under FRE 407.

Federal Rule of Evidence 407 excludes evidence of "measures" a defendant has taken "that would have made an earlier injury or harm less likely to occur." Such evidence is inadmissible if offered to prove "negligence" or "culpable conduct." *See* Fed. R. Evid. 407 (2015). The justification for Rule 407 is twofold. First, the probative value of any subsequent remedial measure as an admission of fault is limited. Second, exclusion fosters "a social policy of encouraging people to take . . . steps in furtherance of added safety." *See id.* (advisory committee's note).

Here, proof that the defendant company immediately investigated the accident and one day later fired the truck driver is relevant only insofar as it suggests that, at the time of the accident, the truck driver acted in a culpable or negligent fashion. The company should object to the admission of this evidence for that purpose, and this defense objection should be sustained by the court. The general rule in both state and federal courts is that post-incident discipline constitutes a subsequent remedial measure. *See Alfieri v. Carmelite Nursing Home, Inc.*, 29 Misc.3d 509, 514–16, 907 N.Y.S.2d 577 (2010) (surveying cases). More specifically, the termination of employees under similar circumstances is typically viewed as a subsequent remedial measure. For example, in *Mahnke v. Washington Metropolitan Area Transit Authority*, 821 F. Supp. 2d 125, 152 (D.D.C. 2011), the court found evidence regarding a bus driver's termination following an accident with a pedestrian inadmissible as a subsequent remedial measure. *See also Dukett v. Mausness*, 546 N.E.2d 1292 (Ind. Ct. App. 1989) (excluding evidence that cab company fired driver the day after an accident); *Hull v. Chevron U.S.A., Inc.*, 812 F.2d 584, 587 (10th Cir. 1987) (evidence of termination of negligent employee and change in safety policies not admissible because it would "trespass inferentially into the Rule 407 prohibited terrain of proof of culpable conduct").

Under Rule 407, evidence of subsequent remedial measures is admissible only if offered "for another purpose, such as impeachment or—if disputed—proving ownership, control, or the feasibility of precautionary measures." Nothing in the facts indicates that these issues will arise.

Point Two(a) (15%)

The cell-phone photograph of the handwritten letter may be admitted if the letter can be authenticated.

The photograph of the letter is relevant only if the letter was actually written by the truck driver. Under Federal Rule of Evidence 901(a), “[t]o satisfy the requirement of authenticating or identifying an item of evidence, the proponent must produce evidence sufficient to support a finding that the item is what the proponent claims it is.” Generally, a handwritten letter can be authenticated by testimony of either a witness with knowledge (e.g., the truck driver’s testimony that he wrote the letter) or testimony from a lay or expert witness identifying the handwriting. Specifically, under Rule 901(b)(2), handwriting can be authenticated by “[a] nonexpert’s opinion that handwriting is genuine, based on familiarity with it that was not acquired for the current litigation.” *See, e.g., Smith v. State*, 902 A.2d 1119, 1124 (Del. 2006) (noting that there is generally no minimum number of observations of someone’s handwriting required to constitute familiarity but that there must be a minimum factual basis, which some courts have held to be observation of handwriting on one occasion).

Here, although the woman is unable to authenticate the letter, there are likely lay or expert witnesses who could authenticate the truck driver’s handwriting.

Of course, in the unlikely event that the letter cannot be authenticated, the photograph of the letter should not be admitted for any purpose.

Point Two(b) (25%)

If the court finds that the truck driver’s letter has been authenticated, it should admit the photograph of the letter because the photograph satisfies the “best evidence” rule.

If the court finds that the letter has been authenticated, it must then address the fact that the woman has lost the original (hard copy) letter. All she has is a photograph of the letter taken with a cell phone. Under the “best evidence” rule, when a party seeks to prove the content of a writing, she must do so by producing the writing itself. *See McCormick on Evidence* § 229.

The federal version of the “best evidence” rule is contained in Rule 1002, which provides that “[a]n original writing . . . is required in order to prove its content unless these rules . . . provide[] otherwise.” Fed. R. Evid. 1002. However, original writings are not always available or extant, so Rules 1003 and 1004 provide widely used exceptions to the “best evidence” rule.

First, under Rule 1003, “a duplicate” of a document “is admissible to the same extent as the original unless a genuine question is raised about the original’s authenticity” Fed. R. Evid. 1003. The woman should be able to admit the photograph as a duplicate. The photograph has been found by a neutral computer expert to be clearly legible and not altered in any manner. Under these circumstances, the photograph is a duplicate of the letter, no different from photocopies, which are routinely admitted under Rule 1003. *See, e.g., U.S. v. Stockton*, 968 F.2d 715, 719 (8th Cir. 1992) (photographs of notes taken by DEA agents are admissible as duplicates to prove content of the notes); *cf. Cobb v. Commonwealth*, 2013 WL 5744363 (Va. Ct. App. 2013) (a cell-phone service provider’s printout of text messages sent to cell phone is an admissible duplicate of the original writing).

Second, Rule 1004 allows the contents of writings to be proved by “other evidence” under certain circumstances. One circumstance where “other evidence” is allowed is when “all the originals are lost or destroyed, and not by the proponent acting in bad faith.” Fed. R. Evid. 1004(a). Although the

facts do not specify how the original (hard copy) handwritten letter was lost, there is no evidence that the woman acted in bad faith.

Thus, the court should conclude that the photograph of the letter satisfies the “best evidence” rule.

Point Two(c) (25%)

If the letter is authenticated and the cell-phone photograph satisfies the “best evidence” rule, the hearsay statements in the letter should be admitted as statements against interest by an unavailable declarant.

If the letter is authenticated and the cell-phone photograph satisfies the “best evidence” rule, the contents of the letter are relevant to this tort action because they support the woman's argument that the truck driver caused the accident by driving under the influence of narcotic pain pills. However, if offered by the woman for this purpose, the letter is hearsay because it is an out-of-court statement offered to “prove the truth of matter asserted in the statement.” Fed. R. Evid. 801(c).

Although the letter is hearsay, the woman should argue and the court should find that the letter is admissible under Rule 804(b)(3) as a statement against interest by an unavailable declarant.

First, the truck driver is an unavailable declarant because neither party has been able to procure his attendance at trial and his whereabouts are unknown. A witness is unavailable when he is “absent from the trial . . . and the statement’s proponent has not been able . . . to procure the declarant’s attendance or testimony.” Fed. R. Evid. 804(a)(5).

Second, Rule 804(b)(3) defines the “statement against interest” exception to the hearsay rule as a statement that “a reasonable person in the declarant’s position would have made only if the person believed it to be true because, when made, it . . . had so great a tendency . . . to expose the declarant to civil or criminal liability”

The truck driver's letter was a statement against interest because he wrote, “I am terribly sorry about the accident that I caused. It was all my fault. I was taking pain pills . . . and shouldn't have been driving.” Taken in context, the letter was an unequivocal admission of fault potentially subjecting the truck driver to both civil and criminal liability and was the type of statement that a reasonable person would make only if the person believed it to be true.

[NOTE: Some examinees might argue incorrectly that the woman should also argue that the letter should be admitted as a statement made by a party opponent or by the defendant’s “agent or employee on a matter within the scope of that relationship and while it existed.” Fed. R. Evid. 801(d)(2)(A) and (D). This is incorrect. The truck driver is not a party. The truck driver was also fired a day after the accident and the letter is dated a week after the accident, i.e., at a time when the employment relationship no longer existed. Similarly, an argument that the letter should be excluded as an offer of settlement from the truck driver to the woman under Fed. R. Evid. 408 is incorrect because the statement was not made during compromise (i.e., settlement) negotiations.]

Point Three (20%)

Because of the physician-patient privilege, the court probably should not compel the doctor to testify, but this will depend on applicable state law.

The woman will seek to have the truck driver's doctor testify that the truck driver suffered from chronic pain and, one month before the accident, had been prescribed a powerful narcotic to treat that pain. The doctor has stated that she does not want to testify, and the trucking company should object to this testimony on the ground of physician-patient privilege.

This is a diversity action filed in federal district court, so "state law governs privilege regarding a claim or defense for which state law supplies the rule of decision." Fed. R. Evid. 501.

Although the problem does not specify the physician-patient privilege law of the relevant state (likely State A), all states recognize this privilege, *see* Laurie L. Levenson, *Evidence*, in *The Journalist's Guide to American Law* 330 (J.L. Nockleby ed. 2013), and the privilege invariably belongs to the patient. When a patient, like the truck driver, is unavailable at the time of trial and cannot effectuate a waiver, the physician typically has an ongoing duty to assert the privilege and thus refuse to disclose confidential information. *See, e.g., State ex rel. Maloney v. Allen*, 26 S.W.3d 244 (Mo. Ct. App. 2000). The privilege generally covers communications made by the patient to the physician for the purpose of securing treatment, which would include any statements by the truck driver to his doctor describing his pain and medical records describing medications. *See generally Liew v. New York University Medical Center*, 55 A.D.3d 566 (N.Y. Sup. Ct., App. Div.); *Sun Health Corp. v. Myers*, 205 Ariz. 315 (Ariz. Ct. App. 2003). Given these general principles, the court should find that the State A physician-patient privilege precludes the doctor from testifying about the truck driver's chronic pain or the prescribed narcotics.

The woman may respond that the truck driver partially and impliedly waived the physician-patient privilege when he disclosed his use of "pain pills" in the letter to the woman. However, the disclosure of medical information to third parties is usually not considered an implied waiver. *See, e.g., Lezell v. New York*, 538 N.Y.S.2d 902 (N.Y. Ct. Cl. 1989) (disclosure of bare facts of medical history does not waive privilege in medical records and physician-patient communications).

However, some cases suggest that certain voluntary disclosures of otherwise privileged information by the patient could be viewed as an implied waiver of physician-patient privilege for communications relevant to the information disclosed. *See, e.g., Liverano v. Devinsky*, 717 N.Y.S.2d 629 (N.Y. App. Div. 2000) (defendant's voluntary disclosure to media that he suffered from glaucoma was deemed to waive the physician-patient privilege in his ophthalmological medical records); *Farrow v. Allen*, 608 N.Y.S.2d 1 (N.Y. App. Div. 1993) (physician-patient privilege applies only to protect communications made in confidence and in context of physician-patient relationship, but if patient reveals information to third party wholly unconnected to treatment and not subject to any privilege, communication no longer deemed a confidence and privilege deemed waived as to that information). However, a court adopting this view would limit the scope of the doctor's testimony to the relevant medical information (the pain pills).

JULY 2020 MEE

ANALYSIS 2 – CORPORATIONS & LLCs / CONSTITUTIONAL LAW

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Does State X law permit inspection by a corporate shareholder of board minutes dealing with the corporation's political expenditures when the shareholder's stated purpose is to prevent an alleged waste of corporate assets?
- (2) Under State X law, is a shareholder's resolution prohibiting a corporation's board from approving any political expenditures unless previously authorized by the corporation's shareholders a proper subject for shareholder action?
- (3) Would such a shareholder resolution, if approved by a majority vote of the corporation's outstanding shares, infringe the corporation's First Amendment right to free speech?

DISCUSSION

Summary

The requested board minutes that relate to Retailer's donations to AFAW are subject to inspection under the MBCA inspection statute. The shareholder's inspection demand was based on credible news reports and identified categories of documents related to the shareholder's proper purpose to expose the impropriety of these donations.

The shareholder's resolution requiring the board to obtain shareholder authorization before approving political expenditures by Retailer is not a proper subject for shareholder action. The resolution ("board of directors shall not approve . . .") is phrased as a binding limitation on the board's discretion. Although the MBCA recognizes the fundamental right of shareholders to propose resolutions for shareholder action, such a proposal must generally be phrased as a precatory recommendation (not a mandate) for board action.

The First Amendment, as interpreted by the Supreme Court in *Citizens United*, treats independent political expenditures by for-profit corporations as protected speech. Nonetheless, the corporation's First Amendment rights are not infringed by a shareholder resolution to restrict its political activity because the restriction would be imposed by private actors, not by state action. Indeed, in *Citizens United*, the Court made clear that shareholders can place limits on corporate speech by exercising their rights to participate in "corporate democracy," thus making "corporations . . . accountable for their positions."

[NOTE: Governance of the internal affairs of Retailer, because it is incorporated in a Model Business Corporation Act jurisdiction, is subject to the MBCA rules related to shareholder rights to information and to initiate corporate action. *See* MBCA § 15.01(a)(1) (preserving the judicially developed doctrine that internal corporate affairs are governed by the law of the state of incorporation). Here, the question specifically calls for an analysis of State X law and does not raise any issues under other laws, including the federal shareholder proposal rule (Securities and Exchange Act Rule 14a-8). Thus, the examinee's answer should focus on the applicable rules supplied by the MBCA.

The question is based on the 2016 Revision of the MBCA. The result and analysis for the question, however, would be the same under earlier versions of the MBCA.]

Point One (35%)

The shareholder has a right to inspect the requested board minutes. Her request is specific and based on credible press reports of large, questionable donations by Retailer. Further, her stated desire to expose the wastefulness of these donations is a proper purpose.

Generally, a corporation is required to keep minutes of meetings of its board of directors. *See* MBCA § 16.01(a)(5), (b). Thus, the documents requested here by the shareholder should be in existence and available from Retailer.

Under the MBCA, any shareholder has a right to inspect and copy board minutes by making a demand for inspection. MBCA § 16.02(b)(3). To inspect such records, the shareholder's demand must be made in "good faith" and for a "proper purpose"; the shareholder's purpose and the requested records must be described with "reasonable particularity"; and the requested records must be "directly connected" with the shareholder's purpose. *Id.* § 16.02(c).

Although the MBCA does not define "proper purpose," case law has defined it as a purpose that is "reasonably relevant" to the demanding shareholder's interest as a shareholder. *See* Official Comment, MBCA § 16.02(c). Courts have generally accepted as proper a shareholder's purpose to protect his financial interest in the corporation, his interest in voting or selling shares, or his bringing of a lawsuit to protect these interests. Thus, an investigation by a shareholder into possible corporate wrongdoing, whether to bring a shareholder lawsuit or initiate other remedial action, constitutes a "proper purpose." *See Security First Corp. v. U.S. Die Casting and Dev. Co.*, 687 A.2d 563, 567 (Del. 1997).

To show "good faith," courts have required shareholders seeking to investigate corporate wrongdoing to present evidence establishing a "credible basis" for belief in possible wrongdoing; mere suspicion of wrongdoing is not enough. *See Seinfeld v. Verizon Communications, Inc.*, 909 A.2d 117 (Del. 2006) (disallowing inspection of documents based only on allegations of unauthorized and excessive compensation). Further, when a shareholder who demands inspection has interests that relate both to the shareholder's financial investment and to other interests (such as a social or political interest), courts have generally permitted inspection if the shareholder is able to identify "shareholder" interests. *See Conservative Caucus v. Chevron Corp.*, 525 A.2d 569 (Del. Ch. 1987) (permitting inspection of shareholders' list by shareholder seeking voting support from other shareholders for a proposal that corporation stop doing business in communist Angola given alleged economic risks such business created for corporation).

Finally, the shareholder seeking inspection must identify documents “with reasonable particularity” and show how they are “directly connected” to the articulated purpose of the inspection. *See Saito v. McKesson HBOC, Inc.*, 806 A.2d 113 (Del. 2002) (allowing inspection of documents, based on demand for “categories of documents” relating to challenged merger). According to the Official Comment accompanying the MBCA inspection statute, if the corporation disputes the “connection” of the demanded records to the shareholder’s purpose, the court may examine the records privately to make this determination. *See* Official Comment, MBCA § 16.02(c).

Here, the shareholder’s demand for board minutes that relate to Retailer’s donations to AFAW appears to satisfy the inspection statute. The demand, stated in terms of categories of documents, permits the corporation to identify the documents sought by the shareholder. Moreover, the shareholder’s stated purposes—to expose the impropriety of these donations (because they are said not to promote any corporate interest) and to have the board desist from further donations—are related to the shareholder’s financial interest in the corporation. Even if the shareholder has other non-corporate reasons for demanding inspection, such as political views about the corporation’s participation in politics, her stated purpose to expose corporate waste is sufficient.

Moreover, to obtain inspection, the shareholder need not demonstrate that Retailer’s donations to AFAW actually constituted “waste.” That is, the donations may or may not have constituted “an exchange that is so one-sided that no business person of ordinary, sound judgment could conclude the corporation has received adequate consideration.” *In re Citigroup Shareholder Derivative Litigation*, 964 A.2d 106, 136 (Del. Ch. 2009). To obtain inspection, the shareholder need only have a “good faith” interest in exposing and preventing further corporate wrongdoing. Here, given the press reports about these donations, the shareholder appears to have a “credible basis” for her belief that the donations to AFAW promote no corporate interest. The records, once produced for inspection, will allow the shareholder to decide whether or not to pursue further action to have the board discontinue these donations.

[NOTE: Under the MBCA, the number of shares owned by the shareholder and the time that she has held them are not relevant to her inspection rights. *See* MBCA § 16.02(a), (f). Thus, an answer that discusses the ownership and holding-period requirements of SEC Rule 14a-8 (ownership of \$2,000 or 1% of outstanding shares during 12-month holding period) should receive no credit for this discussion.]

Point Two (35%)

The shareholder’s proposed resolution, as phrased, is not a proper subject for shareholder action. The resolution improperly *mandates* that Retailer’s board of directors not approve corporate political expenditures unless authorized by the shareholders.

The MBCA does not specifically permit the submission of shareholder resolutions for shareholder action at shareholders’ meetings. Nonetheless, the practice is widespread and generally accepted under common law principles as a fundamental right of shareholders. *See* Official Comment, MBCA § 7.08 (recognizing that corporate bylaws may specify that “to propose a resolution for adoption” a shareholder may be required to give advance notice of the proposal).

The case law on proper subjects for shareholder resolutions is scant. The leading case, decided by the New York Court of Appeals, permitted a shareholder proposal stating support for the corporation's former president and recommending his re-hiring by the corporation's board of directors. As the court explained,

The stockholders, by expressing their approval of Mr. Auer's conduct as president and their demand that he be put back in that office, will not be able, directly, to effect that change in officers, but there is nothing invalid in their so expressing themselves and thus putting on notice the directors who will stand for election at the annual meeting.

Auer v. Dressel, 118 N.E.2d 590, 593 (N.Y. 1954). Thus, shareholders may express their views on corporate matters in non-binding, precatory resolutions.

The U.S. Securities and Exchange Commission's rules on the inclusion of shareholder resolutions in proxy materials state that a company may exclude from proxy materials a shareholder proposal that is "improper under state law." SEC Rule 14a-8(i)(1); *see also SEC v. Transamerica Corp.*, 163 F.2d 511, 514 (3d Cir. 1947), *cert. denied*, 332 U.S. 847 (1948) (whether shareholder proposal is proper is answered not by federal but by state corporate law). A note accompanying the SEC rule takes a similar view of state law requirements as the view expressed by the New York court in *Auer*:

Depending on the subject matter, some proposals are not considered proper under state law if they would be binding on the company if approved by shareholders. In our experience, most proposals that are cast as recommendations or requests that the board of directors take specified action are proper under state law. Accordingly, we will assume that a proposal drafted as a recommendation or suggestion is proper unless the company demonstrates otherwise.

Consistent with this note, SEC staff has taken the view that shareholder proposals cast as recommendations or requests that the board of directors take specified action are generally proper under state law. *See Bank of America Corp.*, SEC No-Action Letter (Feb. 15, 2013) (shareholder proposal requesting that corporation's board prepare a report on the corporation's political activities and expenditures). However, a shareholder proposal that would bind the corporation or the corporation's board is generally not considered proper under state law.

An exception to this principle, however, arises when the shareholder resolution seeks to require corporate action by means of an amendment to the corporation's bylaws. Amending the bylaws is a power that shareholders generally share with the corporation's board of directors. *See* MBCA § 10.20. Thus, the Delaware Supreme Court has stated that a shareholder proposal to amend the corporation's bylaws to *require* the corporation to reimburse reasonable expenses of a shareholder nominating a "short slate" of directors is a proper subject for shareholder action. *See CA, Inc. v. AFSCME Employees Pension Plan*, 953 A.2d 227 (Del. 2008).

Here, the shareholder's resolution is phrased as a binding limitation on Retailer's board not to approve any political expenditures unless authorized by the shareholders. Thus, this resolution (as phrased) is not a proper subject for shareholder action. Because it does not seek to amend Retailer's bylaws, its mandatory nature makes it an improper subject for shareholder action under State X law.

Point Three (30%)

A shareholder resolution restricting Retailer's political activities is private action, not state action, and thus would not infringe Retailer's First Amendment rights.

The Supreme Court has held that independent political expenditures by a for-profit corporation constitute speech protected by the First Amendment. *Citizens United v. Federal Election Commission*, 558 U.S. 310 (2010) (invalidating federal statutory ban on corporate expenditures in federal elections); *see also Am. Tradition P'ship v. Bullock*, 567 U.S. 516 (2012) (invalidating Montana statute banning corporate expenditures to influence state elections).

Although the shareholder resolution in this case seeks to restrict Retailer's political expenditures, the shareholder-voted restriction would not violate the Constitution because the restriction is not "state action." The Supreme Court has long held that only government action can violate the protections of individual liberty in the Constitution. Private actors are not obliged to comply with the Constitution, and private conduct that infringes on individual rights (e.g., First Amendment rights) is not unconstitutional. *See, e.g., Civil Rights Cases*, 109 U.S. 3 (1883) (Fourteenth Amendment, which prohibits action by States, does not reach "individual invasion of individual rights"); *Sharp Corp. v. Hisense USA Corp.*, 292 F. Supp. 3d 157, 175 (D.D.C. 2017) ("it is axiomatic" that infringements of First Amendment require state action). Thus, under the "state action" doctrine, a shareholder resolution that restricted Retailer's political contributions would not violate Retailer's First Amendment rights. In fact, the Court in *Citizens United* made clear that shareholder activism aimed at restricting corporate political speech would be lawful.

Although *Citizens United* applied strict scrutiny to the federal ban on corporate political expenditures and rejected the argument that protecting the speech rights of individual shareholders from having management speak on their behalf was a compelling governmental interest, the Court pointed out that "[t]here is . . . little evidence of abuse that cannot be corrected by shareholders 'through the procedures of corporate democracy.'" 558 U.S. at 361–62 (quoting *First Nat'l Bank of Boston v. Bellotti*, 435 U.S. 765, 794 (1978)). The Court explained:

Shareholder objections raised through the procedures of corporate democracy can be more effective today With the advent of the Internet, prompt disclosure of expenditures can provide shareholders . . . with the information needed to hold corporations . . . accountable for their positions Shareholders can determine whether their corporation's political speech advances the corporation's interest in making profits.

Id. at 370 (internal citations omitted). Thus, while *Citizens United* held that the government may not prohibit corporate political expenditures, the Court made clear that such expenditures can be regulated under corporate law through the assertion of shareholder rights—specifically "procedures of corporate democracy" and other methods that make "corporations . . . accountable for their positions."

[NOTE: A knowledgeable examinee might argue that under the "entanglement exception" to the state action doctrine, private action can violate the Constitution when the government "affirmatively authorize[d], encourage[d], or facilitate[d]" that private conduct. Erwin Chemerinsky, *Constitutional Law: Principles and Policies* 539 (4th ed. 2011). *See, e.g., Shelley v. Kraemer*, 334

US. 1, 19 (1948) (state court enforcement of a racially restrictive property covenant constituted state action sufficient to bring the 14th Amendment into play).

It is highly improbable, however, that the entanglement exception would apply here. First, the courts have been unwilling to expand the holding in *Shelley v. Kraemer* beyond the racial discrimination context. See *Edwards v. Habib*, 397 F.2d 687, 691 (D.C. Cir. 1968) (“if . . . every private right were transformed into governmental action by the mere fact of court enforcement of it, the distinction between private and governmental action would be obliterated”). Second, the mere fact that the government authorizes a corporation’s existence and permits shareholder governance is unlikely to be treated as sufficient entanglement to make the government responsible for shareholder choices. See, e.g., *Moose Lodge Number 107 v. Irvis*, 407 U.S. 163 (1972) (government grant of a liquor license to a private club does not entangle government in discrimination by the club); *Am. Mfrs. Mut. Ins. Co. v. Sullivan*, 526 U.S. 40, 54 (1999) (in arbitration context, government authorization of “a private choice cannot support a finding of state action”).]

JULY 2020 MEE

ANALYSIS 3 – DECEDENTS' ESTATES / TRUSTS & FUTURE INTERESTS

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1)(a) Did Ann create a valid charitable trust?
- (1)(b) Assuming that Ann created a valid charitable trust, may the trust endure in perpetuity or until its assets are exhausted?
- (2) Assuming that the trust cannot endure for its stated duration, could a court preserve the trust for any period of time to carry out Ann's intentions?
- (3) To whom should Ann's estate be distributed and in what shares?

DISCUSSION

Summary

Ann's trust is a valid charitable trust because civic improvement is a permissible charitable purpose. Charitable trusts are not subject to the common law rule against perpetuities and therefore, Ann's trust can last in perpetuity.

A trust may be created for a noncharitable purpose without any definite beneficiaries but having an otherwise valid purpose. However, such a trust cannot be enforced for more than 21 years after its creation. Here, it is unclear whether the trust can be continued under that rule because the facts do not indicate when Ann created the trust.

Ann's estate is distributable to her heirs. Under the civil law consanguinity method, Ann's heirs are her uncle and her niece, who would take in equal shares; under the parentelic distributional method, Ann's only heir is her niece.

Point One(a) (45%)

A trust is charitable if it serves a governmental purpose or is otherwise beneficial to the community. Ann's trust for the beautification of the community serves these charitable purposes.

A charitable trust can only be created for a charitable purpose. Charitable purposes include (1) the relief of poverty, (2) the advancement of education, (3) the advancement of religion, (4) the promotion of health, (5) governmental or municipal purposes, and (5) "other purposes the

accomplishment of which is beneficial to the community.” Restatement (Second) of Trusts § 368. *Accord*, Unif. Trust Code § 405.

The plantings are for a governmental or municipal purpose, as it is customary for municipalities to engage in beautification programs for their downtown areas. *See generally* Bogert on Trusts § 54 (6th ed.). When a trust discharges a governmental function, thus relieving taxpayers of the duty to provide the function, the trust is charitable. *See, e.g.*, Restatement (Third) of Trusts § 28 cmt. k (trust providing facilities ordinarily supplied by community at taxpayer expense is charitable).

The trust is also one that is “beneficial to the community.” *See* Bogert, *supra*, § 54. *See also* Restatement (Third) of Trusts § 28 cmt. a. A trust to aid a profit-making business enterprise is not charitable. *Id.* The facts state that Ann was motivated to create the trust to honor the store owners who financed her education. If the court construed Ann’s motivation as limiting trust benefits to a few stores in the town, the trust would not be charitable. But a trust settlor’s motivation does not determine the nature of the benefit provided by the trust; only the trust instrument can do so.

Here, the trust instrument provided that plantings should be made on all principal streets, not just in front of stores owned by the individuals who helped Ann. All residents, visitors to the community, and the business owners along the principal streets obtain an aesthetic benefit from the plantings. No trust assets are used to benefit a few individuals or a small group. *See* Restatement (Third) of Trusts § 28 cmt. l (“a trust to beautify a city . . . or otherwise add to the aesthetic enjoyment of the community is charitable”). Thus, Ann’s trust is a charitable trust.

Point One(b) (10%)

A charitable trust can last in perpetuity; it is not invalid under the rule against perpetuities.

A charitable trust can last in perpetuity. It is not subject to the rule against perpetuities. *See generally* Gray, Rule Against Perpetuities §§ 589–628 (4th ed.).

Point Two (5%)

Assuming that the trust cannot last for its stated duration, under the Uniform Trust Code the court could authorize the trust’s continuation for up to 21 years after its creation to carry out its noncharitable purposes so long as those purposes are not capricious.

A noncharitable trust ordinarily must have ascertainable beneficiaries. Section 402 of the Uniform Trust Code provides that “a trust is created only if: . . . the trust has a definite beneficiary.” (The Restatement (Second) of Trusts §§ 112–122 and Restatement (Third) of Trusts §§ 44–46 have consistent provisions.) However, the Trust Code creates an exception to the definite-beneficiary rule for both charitable trusts and noncharitable trusts that meet the requirements of Section 409.

Under Section 409, a trust “may be created for a noncharitable purpose without a definite or definitely ascertainable beneficiary . . .” As the comments note, this could include a trust for a “general noncharitable purpose” which is benevolent. While a trust providing mere beneficence to a group of indefinite beneficiaries would not be charitable, it could be sustained under Section 409 of the Trust Code and the principles set forth in both the Second and Third Restatements.

According to the Section 409 comment, a trust for the care of a cemetery plot is illustrative of a permissible noncharitable purpose (although the comment notes that states may have other statutes specifically dealing with such trusts to deal with the matter of perpetual care). Section 409 finds historical support in Restatement (Second) of Trusts § 124, which provides:

Where the owner of property transfers it in trust for a specific non-charitable purpose, and there is no definite or definitely ascertainable beneficiary designated, no enforceable trust is created; but the transferee has power to apply the property to the designated purpose, unless such application is authorized or directed to be made at a time beyond the period of the rule against perpetuities, or the purpose is capricious.

It also gives the cemetery trust as an example. *See* comment d. The Third Restatement is consistent. *See* Restatement (Third) of Trusts § 47. Both Restatement sections characterize the transfer as creating a power instead of a trust, whereas Section 409 deems the transfer to create a trust.

Under the Uniform Trust Code, a trust without ascertainable beneficiaries but otherwise having a valid purpose can be created but “may not be enforced for more than [21] years.” *Accord* Restatement (Third) of Trusts § 47 (generally duration of trust without ascertainable beneficiaries is 21 years). Neither the Uniform Trust Code nor the Restatement (Third) of Trusts §47, cmt. d (on which Section 409 is based) indicate when the 21-year period begins to run. However, the Restatement comments indicate that 21 years was recommended because that is the time frame used in the common law rule against perpetuities and, following that analogy, presumably the 21-year period under Section 409 runs from the date the trust was created.

Assuming that the trust is not a valid charitable trust, the court could order its continuation for 21 years under UTC § 409. However, whether it can do so here is unclear because the facts do not indicate when the trust was created, an important fact if the 21-year period runs from that date.

[NOTE #1: An important lawyering skill is knowing if essential facts are missing. Here, an essential fact—knowing when the trust was created—was omitted from the facts to test the examinees’ ability to demonstrate this important skill.

An examinee might argue that the trust is enforceable for 21 years after the court issues an order, rather from the date of the trust’s creation. That argument is not likely to be successful, and an examinee should not receive credit for making it.]

[NOTE #2: The Uniform Trust Code has been adopted in the following jurisdictions: Alabama, Arizona, Arkansas, Connecticut, Colorado, the District of Columbia, Florida, Illinois, Kansas, Kentucky, Maine, Maryland, Massachusetts, Michigan, Minnesota, Missouri, Montana, Nebraska, New Hampshire, New Jersey, New Mexico, North Carolina, North Dakota, Ohio, Oregon, Pennsylvania, South Carolina, Tennessee, Utah, Vermont, Virginia, West Virginia, Wisconsin, and Wyoming. An earlier version applies in Iowa.

If the UTC is inapplicable, then under the common law, if the trust is not a valid charitable trust, it would violate the common law rule against perpetuities and therefore be void. *See* Restatement (Third) of Property § 47, Rept. Note. *See also* Restatement (Second) of Property § 123. In such case, the trust assets would be distributable to Ann's heirs. (*See* Point Three).

It is also possible that a court would recharacterize the trust as a “power” and allow the trustee to exercise that power in accordance with the terms of the trust for 21 years.]

Point Three (40%)

The answer depends on how State A determines heirship. If State A uses the consanguinity method of determining heirship, Ann’s heirs are her uncle and niece, who would take equal shares. If State A uses the parentelic method, Ann’s only heir is her niece.

The identity of Ann’s heirs is dependent on the method of determining heirship used in State A. There are two methods, the civil-law consanguinity method and the parentelic method adopted by the Uniform Probate Code and like statutes. *See* Unif. Probate Code § 2-103.

Under the civil-law consanguinity method, heirship is determined by degree of relationship; all persons of the same degree of relationship to the deceased individual take equal shares. Both Ann’s uncle and her niece are in the third degree of consanguinity and thus, using this method, both would be her heirs and entitled to equal shares of her estate.

Under the parentelic method, descendants of the decedent’s parents take to the exclusion of descendants of the decedent’s grandparents. Here, Ann’s niece is a descendant of her parents, whereas her uncle is a descendant of her grandparents. Thus, under the parentelic method, the niece would be Ann’s only heir.

JULY 2020 MEE
ANALYSIS 4 – FAMILY LAW

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1)(a) Does a state court have jurisdiction to grant one spouse a divorce when the other spouse has minimal or no personal contact with the state?
- (1)(b) Does a state court have jurisdiction to grant a parent sole physical custody of a child when the parent unilaterally brought the child into the state without the other parent's knowledge or permission and the other parent has minimal or no contact with the state?
- (1)(c) Does a state court have jurisdiction to grant a spouse a share of marital property when the other spouse lacks minimal contacts with the state?
- (2)(a) Assuming that the State A court has jurisdiction, could the court grant the wife's divorce petition based on the husband's fault?
- (2)(b) Assuming that the State A court has jurisdiction, should the court grant the wife sole physical custody of the parties' daughter, Sarah?

DISCUSSION

Summary

The State A court has jurisdiction to grant the wife's petition for divorce because the wife is domiciled in State A and has met State A's residency requirement for filing a divorce action. A state court may grant a divorce to a person domiciled in the state even if it has no basis for asserting personal jurisdiction over the other spouse.

The State A court also has jurisdiction to grant sole physical custody of Sarah to the wife. Personal jurisdiction over a respondent parent is not a precondition to entry of a custody decree.

The State A court does not, however, have jurisdiction over the wife's claim for property distribution. The adjudication of a claim for property division in a divorce action requires personal jurisdiction over the respondent. The husband does not have the minimum contacts with State A required for the exercise of personal jurisdiction in this matter.

Assuming that jurisdiction exists, the State A court could grant the wife's divorce petition because she can establish a fault basis for her divorce petition (i.e., her husband's abusive behavior).

Assuming that jurisdiction exists, the State A court should also grant the wife's request for sole physical custody of the couple's child because she has been Sarah's primary caregiver, Sarah has been living exclusively with the wife for several months, there is no evidence that it is in Sarah's best interest to reside with the husband, and the husband has been physically abusive to the wife, a factor that would weigh heavily against the husband in almost all states.

Point One(a) (15%)

Personal jurisdiction over a divorce defendant is not required for issuance of a divorce decree, and thus State A has jurisdiction over the wife's divorce action.

In *Williams v. North Carolina*, 317 U.S. 287 (1942) (*Williams I*), the Supreme Court found that a state could enter a valid divorce decree as long as one spouse was domiciled in that state.

Domicile is based on residence with the intent to remain permanently or indefinitely. Restatement (Second) of Conflict of Laws §§ 70–72. Here, the wife has established a domicile in State A. She has lived in State A for nine months, found a job, and moved into her own apartment. Moreover, she has told the husband that she intends to remain in State A with their daughter. In short, she has abandoned her State B domicile and established a new domicile in State A.

Because the wife is a State A domiciliary and has lived in State A for nine months, thereby meeting State A's six-month residence requirement for filing a divorce petition, the

State A court has jurisdiction to issue a divorce decree to the wife without the necessity of establishing personal jurisdiction over the husband.

Point One(b) (20%)

Personal jurisdiction over a divorce defendant is not required for entry of a custody decree, and thus the State A court has jurisdiction over the wife's petition for a custody decree.

Under both the federal Parental Kidnapping Prevention Act (PKPA) (adopted in all states) and the Uniform Child Custody Jurisdiction and Enforcement Act (UCCJEA) § 2(a) (adopted in all states but Massachusetts), a state that is a child's "home state" has exclusive jurisdiction over a custody action involving the child. Under both the UCCJEA and PKPA, a home state is the state "in which a child lived with a parent or a person acting as a parent for at least six consecutive months immediately before the commencement of a child-custody proceeding." UCCJEA § 102(7); 28 U.S.C. § 1738A(b)(4).

Here, Sarah has resided in State A with the wife, her parent, for nine consecutive months. This qualifies State A as the child's "home state" for purposes of issuing a custody decree. Although some courts have held that a parent who wrongfully takes a child from a state without notice to another custodial parent lacks the capacity to unilaterally establish a new home state for the child, the circumstances here are quite different. One week after arriving in State A, the wife called the husband and told him that she had moved to State A with Sarah and that she intended to stay there. Over the following nine months, the husband had ample opportunity to file a custody action in State B and did not do so. In effect, the husband acquiesced in Sarah's move to State A. Thus, State A is now Sarah's home state, and a State A court has jurisdiction to issue a custody order.

[NOTE: In *May v. Anderson*, 345 U.S. 528 (1953), the Supreme Court held that the state where a parent was domiciled was not bound to give full faith and credit to the child-custody determination of a court of the state where the children were domiciled when that state lacked sufficient minimum contacts with the parent to give its courts personal jurisdiction over the parent. However, in 1980 Congress passed the Parental Kidnapping Prevention Act (PKPA). Pursuant to that act, all states must give full faith and credit to the custody decree of a state with jurisdiction under PKPA rules. See 28 U.S.C. § 1738A. As noted above, State A is Sarah’s “home state,” and a State A court would therefore have jurisdiction under the PKPA. Accordingly, its decree would be entitled to full faith and credit in State B and elsewhere, despite the husband’s lack of personal connection with State A.]

Point One(c) (20%)

Personal jurisdiction over a divorce defendant is required for the distribution of marital property. Thus, because the husband does not have the requisite minimum contacts with State A to establish a basis for personal jurisdiction, the State A court does not have jurisdiction to grant the wife a share of the couple’s marital property.

In an *ex parte* divorce where the court issues a divorce decree based on the domicile of the plaintiff and without personal jurisdiction over the defendant, the court lacks the power to adjudicate property and support rights. The divorce decree is thus “divisible”; jurisdiction to terminate a marriage does not establish jurisdiction over other divorce claims. See *Estin v. Estin*, 334 U.S. 541 (1948).

A state may not exercise personal jurisdiction over a defendant who does not have “minimum contacts” with the forum state. See *International Shoe Co. v. Washington*, 326 U.S. 310 (1945). The Supreme Court has held that “temporary visits,” like a brief stopover en route to somewhere else, do not satisfy the minimum contacts requirement, even when the defendant marries during the stopover period. See *Kulko v. Superior Court*, 436 U.S. 84 (1978).

Here, the husband has never visited State A except for a brief, one-day stopover to get married while traveling by train. Therefore, State A does not have the requisite minimum contacts with the husband to establish personal jurisdiction over him, and it cannot adjudicate the distribution of marital property in the husband-wife divorce action.

[NOTE: An examinee should get no credit for arguing that the marriage is sufficient to establish jurisdiction.]

Point Two(a) (20%)

The State A court could grant the wife’s divorce petition on the husband’s fault.

In those states that have retained fault divorce grounds, such as State A, a divorce may typically be granted on grounds of cruelty or a like concept. “Cruelty typically has been defined as bodily harm, or reasonable apprehension of bodily harm, that endangers life, limb, or health, and renders marital cohabitation unsafe or improper.” John Gregory, et al., *Understanding Family Law* § 8.03B[3] (4th ed. 2013). Traditionally, the abuse must be physical, successive, and continuing for an extended period of time, or a single severe physical act causing serious bodily harm or reasonable apprehension of serious future danger. *Id.* In recent decades, however, jurisdictions recognize a single, less serious physical incident as sufficient and recognize emotional or mental cruelty. *Id.*

Here, the husband's physical and emotional abuse of the wife would qualify as cruelty. After his accident, the husband became physically and emotionally abusive toward the wife. Although it is unclear when the behavior began, the facts suggest that the husband could have been abusive to the wife for more than a year. Additionally, the facts indicate that one incident of the husband's physical abuse was serious enough to result in the wife's hospitalization and the husband's criminal conviction. Either the ongoing physical and emotional abuse or the single instance of serious physical abuse is sufficient to support a divorce on grounds of cruelty.

The facts do not suggest that the husband could successfully assert any defenses to a fault-based divorce. Thus, on fault grounds, the State A court should grant the wife's divorce petition.

[NOTE: An examinee may argue that the State A court will not grant the wife a divorce because the husband has a recrimination defense (i.e., both parties are guilty of marital misconduct) on the grounds that the wife abandoned or deserted him by moving out of state. Gregory, *supra*, § 8.03C[4]. A court is highly unlikely to credit this defense because the wife has a strong defense that the husband's cruelty gives rise to a constructive desertion claim by the wife (i.e., his cruelty made the marriage intolerable, forcing her to abandon the marriage). *Id.* § 8.03B[4].]

Point Two(b) (25%)

The State A court could grant the wife's petition for sole physical custody. The facts suggest that the best interests of the couple's child would be served by the wife's continued custody; there is no evidence that it would be in Sarah's best interests to reside with the husband; and the husband's conviction for assaulting the wife strongly militates against granting him custody of Sarah.

In all states, a custody decision is based on a determination of a child's best interests. Gregory, *supra*, § 11.03[A]. The best-interests inquiry is typically far-ranging, including the following factors *inter alia*: the wishes of the child's parents, the child's primary caretaker, the mental and physical health of all individuals, the interrelationship of the child and parents, and stability. *Id.* Additionally, nearly every state currently mandates consideration of domestic violence between the parents when awarding custody, and many states have standards under which it is presumed that a parent guilty of serious domestic violence should not be awarded custody of a child. Harry D. Krause, et al., *Family Law: Cases, Questions, Comments* 671, 689 (6th ed. 2007).

Here, the wife has been Sarah's primary caregiver throughout her life, and Sarah has resided exclusively with the wife for the past nine months. The husband has not visited Sarah during the past nine months or made any apparent effort to do so, while the wife has requested sole physical custody of Sarah, indicating her strong desire to parent Sarah. Furthermore, the husband has a drinking problem, presumably alcohol addiction brought about by the serious injuries resulting from the accident. It seems likely that his addiction has already interfered and will continue to interfere with his ability to care for Sarah, unless he enters treatment, which, apparently, he has not.

Finally and maybe most importantly, because of the husband's chronic physical and emotional abuse of the wife and his assault conviction, the court is likely to rebuttably presume that the husband should not be awarded any physical custody of Sarah. The husband cannot point to any facts that successfully overcome the presumption. Although he apparently has not been abusive to Sarah and it is unclear whether she witnessed or has been affected by the abuse, a court may

nonetheless rely upon the presumption to deny custody. Thus, all facts and factors support the court's granting the wife's request for sole physical custody of Sarah.

JULY 2020 MEE

ANALYSIS 5 – SECURED TRANSACTIONS

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1)(a) Does the bank have an enforceable interest in the power generator?
- (1)(b) Does the manufacturer have an enforceable interest in the power generator?
- (1)(c) Which of the two competing security interests in the power generator has priority?
- (2)(a) Does the bank have an enforceable interest in the retinal scanner?
- (2)(b) Does the supplier have an enforceable interest in the retinal scanner?
- (2)(c) Which of the two competing security interests in the retinal scanner has priority?

DISCUSSION

Summary

The power generator is equipment in which both the bank and the manufacturer have enforceable security interests. Both security interests were perfected by the filing of financing statements. Under the general priority rule of “first to file or perfect,” the bank’s security interest would have priority over that of the manufacturer because the bank filed and perfected before the manufacturer. But the manufacturer’s security interest is a purchase-money security interest and, because the manufacturer’s interest was perfected at the time the company received possession of the power generator, the purchase-money security interest of the manufacturer has priority over the security interest of the bank.

The retinal scanner is also equipment in which the bank has an enforceable security interest. While the agreement between the company and the supplier with respect to the scanner is denominated as a “Lease Agreement,” the interest in the retinal scanner retained by the supplier under that agreement is actually a security interest. The bank’s security interest in the retinal scanner was perfected by the filing of the bank’s financing statement. The supplier’s security interest, however, is unperfected. Accordingly, the bank’s security interest has priority over that of the supplier.

Point One(a) (15%)

The bank has an enforceable, attached, and perfected security interest in the power generator.

The agreement between the bank and the company provides that the bank has a security interest in the company's "present and future inventory, accounts, and equipment." The power generator constitutes "equipment" as that term is defined in UCC § 9-102(a)(33) because it is goods that are not inventory, farm products, or consumer goods. *See* UCC §§ 9-102(a)(44), (48), (34), and (23). Section 9-204 allows parties to agree that the collateral includes property acquired subsequently. The bank's security interest in the power generator is enforceable because all three elements of enforceability were satisfied—value was given (the loan), the company had rights in the power generator (certainly by the time the power generator was delivered to the company and perhaps even earlier), and the company authenticated (signed or its electronic equivalent) a security agreement containing a description of the collateral. *See* UCC §§ 9-102(a)(7), 9-203(b), 9-108.

Point One(b) (10%)

The manufacturer has an enforceable, attached, and perfected security interest in the power generator.

The manufacturer also has an enforceable, attached, and perfected security interest in the power generator for similar reasons: it gave value to the company (selling the goods on credit), the company had rights in the power generator, and the company authenticated an agreement granting the manufacturer a security interest. The manufacturer's interest was likewise perfected by filing.

Point One(c) (20%)

The manufacturer's security interest in the power generator is a purchase money security interest. It has priority over the security interest of the bank because the manufacturer's security interest was perfected when the company obtained possession of the power generator.

In order to determine priority as between two enforceable security interests, it is first necessary to determine whether the security interests are perfected. Under UCC § 9-308, a security interest is perfected when it has attached and one of the additional steps described in UCC §§ 9-310–9-316 (usually the filing of a financing statement pursuant to UCC § 9-310(a) or the secured party taking possession of the collateral pursuant to UCC § 9-313) has been satisfied. Here, both security interests have attached because they are enforceable and there was no agreement to postpone attachment (*see* UCC § 9-203(a)), and the filing of a properly completed financing statements satisfies UCC § 9-310(a). Thus, both security interests are perfected.

Priority between competing perfected security interests is generally determined by the "first to file or perfect" rule of UCC § 9-322(a)(1), under which the bank would have priority because its financing statement was filed before that of the manufacturer. But there are special priority rules for purchase-money security interests. In particular, a purchase-money security interest in collateral other than inventory has priority over a competing non-purchase-money security interest (even if it was perfected before the purchase-money security interest) if the purchase-

money interest was perfected when the purchaser received possession of the collateral or within 20 days thereafter. UCC § 9-324(a).

The security interest of the manufacturer is a “purchase-money security interest” because the obligation that the interest secures is the company's obligation to pay the purchase price of the collateral. *See* UCC § 9-103. The collateral (the power generator) is not inventory because it is not held for sale or lease and does not otherwise fall within the definition of inventory in § 9-102(a)(48). Thus, the security interest is a purchase-money security interest in collateral other than inventory and is within the rule of UCC § 9-324(a).

Here, the manufacturer’s purchase-money security interest was perfected no later than the time that the company received possession of the power generator. This is because, at the time the company received the power generator, the security interest was enforceable and attached (*see* Point One(b)) and a financing statement had been filed with respect to the security interest. *See* UCC §§ 9-308, 9-310. Therefore, the manufacturer’s purchase-money security interest in the power generator has priority over the bank’s security interest.

Point Two(a) (10%)

The bank has an enforceable, attached, and perfected security interest in the retinal scanner.

The bank has a security interest in the retinal scanner inasmuch as the company granted it a security interest in all of the company’s present and future equipment and the retinal scanner constitutes equipment. UCC § 9-102(a)(33). The bank’s security interest in the retinal scanner is enforceable because all three elements of enforceability were satisfied: value was given (the loan), the company had rights in the retinal scanner (certainly by the time the retinal scanner was delivered to the company and perhaps even earlier), and the company authenticated a security agreement containing a description of the collateral. *See* UCC §§ 9-203(b), 9-108.

Point Two(b) (25%)

Although the transaction between the supplier and the company is denominated as a “lease,” the supplier’s interest in the retinal scanner is, in fact, a security interest. Although the supplier has satisfied the requirements to have an enforceable security interest in the scanner, its security interest is unperfected because the supplier did not file a financing statement.

The transaction between the supplier and the company is described by them as a lease. But under the UCC, “[a] transaction denominated as a ‘lease’ of goods is sometimes really a lease and sometimes a sale with a retained security interest.” Steven O. Weise, *U.C.C. Article 9: Personal Property Secured Transactions*, 63 Bus. Law. 1353, 1354 (2008). Section 1-203 determines whether a transaction that is in the form of a lease nonetheless is a sale of the leased goods, with the “lessor” retaining a security interest in the goods to secure the obligation of the “lessee” to make the required payments for it. Under § 1-203, a transaction in the form of a lease creates a security interest if the lessee’s obligation to pay is not subject to termination by the lessee and the lessee has the option to become the owner of the goods for no additional consideration upon compliance with the lease agreement. UCC § 1-203(b)(4). As described in the facts, the transaction between the company and the supplier fits that description precisely. Therefore, the interest of the supplier in the retinal scanner is a security interest.

The supplier's security interest in the retinal scanner is enforceable because value had been given, the company has rights in the retinal scanner, and the lease agreement signed by the company is a security agreement inasmuch as it creates a security interest. UCC § 9-102(a)(74).

Point Two(c) (20%)

The bank's security interest in the retinal scanner has priority over the security interest of the supplier because a perfected security interest has priority over an unperfected security interest.

The bank's security interest attached and was perfected by the filing of the financing statement. UCC §§ 9-203, 9-308, 9-310. *See* Point One(c).

The supplier's security interest attached because it was enforceable and there was no agreement to postpone attachment. UCC § 9-203(a). But the supplier's security interest is not perfected. The supplier did not file a financing statement relating to its transaction or take possession of the retinal scanner, and there is no other basis on which to conclude that the security interest is perfected. *See* UCC §§ 9-308, 9-310.

Because the bank has a perfected security interest in the retinal scanner and the supplier has an unperfected security interest in it, priority between those security interests is governed by § 9-322(a)(2). Under that section, a perfected security interest has priority over an unperfected security interest. Therefore, the bank's security interest in the retinal scanner has priority over the security interest of the supplier.

[NOTE: An examinee might note that the security interest of the supplier is a purchase-money security interest. This is accurate but plays no part in the analysis inasmuch as the "superpriority" given by UCC Article 9 to purchase-money security interests applies only to perfected security interests and the security interest of the supplier is unperfected.]

3. Assuming that both the television and the chandelier are affixed or attached to the real property:
- (a) Is the television a fixture? Explain.
 - (b) Is the chandelier a fixture? Explain.

JULY 2020 MEE

ANALYSIS 6 – REAL PROPERTY

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1)(a) Was the owner's refusal to rent to men or to lawyers the type of act that is prohibited by the Fair Housing Act of 1968?
- (1)(b) Did the owner's refusal to rent to men cause her to be liable under the Fair Housing Act of 1968?
- (2) Did either the owner or the newspaper publisher violate the Fair Housing Act of 1968 by publishing the owner's rental advertisement?
- (3) Assuming that both the television and the chandelier are affixed or attached to the real estate:
 - (a) Is the television a fixture?
 - (b) Is the chandelier a fixture?

DISCUSSION

Summary

The Fair Housing Act (the Act) disallows discrimination in housing sales or rentals on the basis of sex, among other things, but not occupation.

However, the owner's refusal to rent her apartments to men did not violate the Act because the Act expressly exempts discriminatory rentals in buildings with no more than four residential units, one of which is occupied by the owner.

The Act also prohibits the expression of a preference relating to sex in all advertisements for rental property; this prohibition does not contain an exemption for buildings with no more than four units. The publication of the owner's advertisement limiting acceptable tenants to women was thus a violation of the Act by both the owner and the newspaper publisher.

Assuming that the wall-mounted television and the chandelier in the owner's apartment are both affixed or attached to the real property, they nonetheless are not fixtures because, under the

state's fixtures code, a reasonable person would conclude that the television and the chandelier were not attached with the intent to make them permanent parts of the real property.

Point One(a) (25%)

The Fair Housing Act of 1968 forbids discrimination in housing rentals based on sex but not occupation.

Under the Fair Housing Act, it is unlawful to refuse to rent a dwelling to a person based on the person's "race, color, religion, sex, familial status, or national origin." 42 U.S.C. § 3604(a). Of these, only discrimination on the basis of sex is relevant here. The owner's refusal to rent to men and her statements to the two men that she did not rent to men were discriminatory under the Act. Nonetheless, there is no liability for this behavior. *See* Point One(b).

The Act does not prohibit discrimination based on occupation. 42 U.S.C. § 3604(a). Thus, the owner's refusal to rent to lawyers did not violate the Act.

Point One(b) (10%)

Despite the Act's prohibition of discrimination based on sex, the owner did not violate the Act because it exempts from its anti-discrimination rule the rental of units in a building with no more than four units, one of which is occupied by the owner.

Section 3603(b)(2) of the Act provides that the anti-discrimination rule does not apply if the owner occupies one of the units in a multiple-unit dwelling containing no more than four units occupied by persons "living independently of each other." Here, because the owner's building contained only three units, the owner occupied one of the units, and all units were occupied by persons living independently of each other, the exception to the Act's nondiscrimination rule applies. Thus, the owner's refusal to rent to men did not violate the Act.

Point Two (15%)

The owner and the newspaper publisher violated the Fair Housing Act of 1968 by publishing a for-rent advertisement that expressed a limitation based on sex.

Section 3604(c) of the Act makes it unlawful

to make, print, or publish, or cause to be made, printed, or published any notice, statement, or advertisement with respect to the sale or rental of a dwelling that indicates any preference, limitation, or discrimination based on race, color, religion, sex, handicap, familial status, or national origin, or an intention to make any such preference, limitation, or discrimination.

42 U.S.C. § 3604(c).

This provision applies not only to a landlord who places an advertisement but also to the publisher of the newspaper in which the advertisement is placed. *See generally* Singer, Property 587 (3d ed. 2010). *See also* *Ragin v. New York Times Co.*, 923 F.2d 995 (2d Cir. 1991). And

unlike § 3603(b)(2), § 3604(c) includes no exception for smaller buildings that are owner-occupied. Thus, both the owner and the newspaper publisher violated the Act when the owner advertised her apartments and specified that only professional women who were not lawyers should apply.

Point Three (50% total weight)

Under the state law, neither the television nor the chandelier is a fixture because a reasonable person would conclude, based upon all the facts and circumstances relating to the specific personal property, that at the time each was affixed or attached, it was not affixed or attached with the intent to make it a permanent part of the real property.

(a) The television (25%)

Under the state law, a fixture is defined as “an item of personal property affixed or attached to the real property by the seller unless a reasonable person would conclude, based upon all the facts and circumstances relating to the specific personal property, that the item of personal property at the time it was affixed or attached was not affixed or attached to the real property with the intent to make it a permanent part of the real property.”

Traditionally, televisions were not fixtures, as they were not attached to the realty. Rather, they sat on the floor or on a piece of furniture. By contrast, televisions today are often wall-mounted, almost never sit on the floor, and infrequently sit on furniture. However, even though the wall-mounted television here is affixed or attached to the real property, a number of factors could cause a reasonable person to conclude that the television was not affixed or attached “with the intent to make it a permanent part of the real property.” These factors include the following: (1) televisions are relatively inexpensive and replaced from time to time as new televisions with newer features and better electronics become available, (2) wall-mounted televisions can be easily removed from the wall mount and relocated, (3) wall-mounted televisions are often connected through a WIFI system to other items of personalty such as speakers and soundbars, and (4) televisions are often tied to the specific needs and desires of the person installing them. Based on these factors and given the facts-and-circumstances test in the state statute, a reasonable person would conclude that the television was not affixed with the intent to make it a permanent part of the real property. To the contrary, it can be easily replaced by another television.

(b) The chandelier (25%)

Even though the chandelier is affixed or attached to the real property, a reasonable person should conclude that the chandelier was not affixed or attached “with the intent to make it a permanent part of the real property.” The argument in favor of this conclusion is that the chandelier is unlike other light fixtures in all the apartments in the building. It is ornate and old-fashioned, and it does not match the other modern light fixtures in the owner's apartment or the other two apartments. Furthermore, when showing the apartment, the owner told the buyer that the chandelier was from her mother and meant a lot to her. Given the facts and circumstances test under the statute, a reasonable person would conclude that the chandelier was not affixed with the intent to make it a permanent part of the real property. Additionally, although it is out of place in the owner's

apartment, the chandelier was nonetheless hung there for sentimental reasons. These facts support a conclusion that a reasonable owner would want to take the chandelier with her should she ever move from the apartment.

[NOTE #1: Under the common law, for example, a fixture is “personal property that is attached to land or a building and . . . regarded as an irremovable part of the real property.” Black’s Law Dictionary 713 (9th ed. 2009). In determining whether specific property is a fixture for purposes of property law, the installer’s intention is relevant; if the installer intended the item to be a permanent attachment, the item is a fixture. *Teaff v. Hewitt*, 1 Ohio St. 511 (Ohio 1853); *see also Green Tree Servicing LLC v. Random Antics LLC*, 869 N.E.2d 464, 469 (Ind. Ct. App. 2007). The manner in which the personalty is affixed or annexed and its peculiar adaptability to the realty serves as objective evidence of the intention to make the personalty a fixture. *See Trenolone v. Cook Exploration Co.*, 166 S.W.3d 495, 499 (Tex. App. 2005). Brown on Personal Property 517 (3d ed. 1975). Furthermore, a court is more likely to treat an item of personalty as a fixture if its removal would cause substantial damage to the real estate. *Id.* Typical fixtures include stoves, cabinets, dishwashers, and wall-to-wall carpeting. An examinee, however, should receive no credit for discussing the manner of affixation or attachment, as the facts assume that criterion has been met here.

An examinee’s conclusion is less important than his or her understanding of the legal principles and use of the facts to support a conclusion. If an examinee makes a cogent argument that a reasonable person would conclude that the chandelier was affixed with the intent to make it a permanent part of the real property, the examinee should receive credit.

[NOTE #2: A proposed new Restatement of Property would eliminate the common law affixation requirement and focus, as this question does, on intent.]

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Preface

The Multistate Essay Examination (MEE) is developed by the National Conference of Bar Examiners (NCBE). This publication includes the questions and analyses from the February 2019 MEE. (In the actual test, the questions are simply numbered rather than being identified by area of law.) The instructions for the test appear on page iii.

The model analyses for the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions to assist graders in grading the examination. They address all the legal and factual issues the drafters intended to raise in the questions.

The subjects covered by each question are listed on the first page of its accompanying analysis, identified by roman numerals that refer to the MEE subject matter outline for that subject. For example, the Civil Procedure question on the February 2019 MEE tested the following areas from the Civil Procedure outline: I.A. Jurisdiction and venue—Federal subject matter jurisdiction (federal question, diversity, supplemental, and removal); and B. Personal jurisdiction.

For more information about the MEE, including subject matter outlines, visit the NCBE website at www.ncbex.org.

Description of the MEE

The MEE consists of six 30-minute questions and is a component of the Uniform Bar Examination (UBE). It is administered by user jurisdictions as part of the bar examination on the Tuesday before the last Wednesday in February and July of each year. Areas of law that may be covered on the MEE include the following: Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Civil Procedure, Conflict of Laws, Constitutional Law, Contracts (including Article 2 [Sales] of the Uniform Commercial Code), Criminal Law and Procedure, Evidence, Family Law, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Article 9 (Secured Transactions) of the Uniform Commercial Code. Some questions may include issues in more than one area of law. The particular areas covered vary from exam to exam.

The purpose of the MEE is to test the examinee's ability to (1) identify legal issues raised by a hypothetical factual situation; (2) separate material which is relevant from that which is not; (3) present a reasoned analysis of the relevant issues in a clear, concise, and well-organized composition; and (4) demonstrate an understanding of the fundamental legal principles relevant to the probable solution of the issues raised by the factual situation. The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Instructions

The back cover of each test booklet contains the following instructions:

You will be instructed when to begin and when to stop this test. Do not break the seal on this booklet until you are told to begin.

You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

If you are using a laptop computer to answer the questions, your jurisdiction will provide you with specific instructions.

Read each fact situation very carefully and do not assume facts that are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show an understanding of the facts, a recognition of the issues included, a knowledge of the applicable principles of law, and the reasoning by which you arrive at your conclusions. The value of your answer depends not as much upon your conclusions as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Examinees testing in UBE jurisdictions must answer questions according to generally accepted fundamental legal principles. Examinees in non-UBE jurisdictions should answer according to generally accepted fundamental legal principles unless your testing jurisdiction has instructed you to answer according to local case or statutory law.

February 2021 MEE Questions

Agency & Partnership

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Civil Procedure

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Real Property

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FEBRUARY 2021 MEE

QUESTION 1 – AGENCY & PARTNERSHIP

A woman owns and operates a food-truck business. Business has been good. The woman asked a man she knew to work with her. “It would be great if you’d help with my food-truck business. There is just not enough time in the day. I need someone to do the early morning produce shopping for me at the farmers’ market. Are you interested?”

The man has a job as a night watchman and had been looking for a way to make extra money. He answered, “Sure, I’m interested. Text me at night what type of produce you want me to buy in the morning when I get off work. The market opens just as I get off my night shift. I could stop by the market with my car and then drop off the purchases at your truck.” He then asked, “And how much would I be paid?”

The woman responded, “Texting works for me. I’ll go to the market with you the first few times to give you a general idea of what I’m looking for. But then you’d be on your own, making the choices of which vendors to use and which produce to buy. Please use your own credit card to make the purchases, and I’ll reimburse you.”

Then the woman paused and continued, “As for pay, I can afford to pay you only \$20 per daily delivery. I know that’s a bit low, but the business doesn’t have the cash flow yet. So, my offer to you is that, in addition to \$20 per day, I will give you 10% of the food truck’s profits.”

The man thought for a bit and said, “Okay. It’s a deal.” They shook hands.

For the first few months, the arrangement worked well. The woman sent texts to the man each night indicating the type of produce to buy, and the man selected and purchased the requested produce in the morning from vendors he selected. He then dropped the produce off at the woman's food truck. The man paid the vendors with his own credit card and later was reimbursed by the woman. Except for the man's purchase and delivery of the produce, the woman did all the work related to the food-truck business.

One morning, while parking at the market, the man negligently ran his car into a farmer’s stall, causing extensive damage. The man truthfully told the farmer that, although the accident was the man’s fault, he had no money to pay for the farmer’s damage and his automobile insurance had lapsed.

The farmer wrote the woman a letter demanding that she pay him for the losses caused by the man’s negligence. The woman has asked her attorney what legal relationship she has with the man and what the liability implications would be in each case.

1. (a) Are the woman and the man partners in the food-truck business? Explain.

 (b) Assuming that the woman and the man are partners in the food-truck business, would the woman be liable to the farmer for the damage proximately caused by the man’s negligence? Explain.
2. (a) Is the man an employee of the woman? Explain.

- (b) Assuming that the man is an employee of the woman, would the woman be vicariously liable to the farmer for the damage proximately caused by the man's negligence? Explain.
- 3.
 - (a) Is the man an independent contractor for the woman? Explain.
 - (b) Assuming that the man is an independent contractor for the woman, would the woman be vicariously liable to the farmer for the damage proximately caused by the man's negligence? Explain.

FEBRUARY 2021 MEE
QUESTION 2 – DECEDENTS’ ESTATES

On July 1, 2015, Testator duly executed a typewritten will that had only the following three dispositive provisions:

1. I give the portrait of my grandparents to my brother, Adam.
2. I give my antique bookcase to my sister, Beth.
3. I give all of my tangible personal property not otherwise effectively disposed of to the person I have named in a letter I signed and dated June 15, 2015. I have put that letter in the night table drawer in my bedroom in my home along with this will.

Testator died on February 10, 2019, a domiciliary of State A. Both the typewritten will and the letter of June 15 were found in the night table drawer. In clause 2 of the will, the phrase “antique bookcase” had been scratched out by Testator and immediately above it he had typed in the word “motorcycle.” And, on the back of the will, the following language appeared wholly in Testator’s handwriting: “I don’t want Adam to have the portrait of my grandparents. I want it to go to my first cousin, Charles.” No signatures appeared on the back of the will beneath this writing.

In the letter referred to in clause 3 of the will, Testator named his niece, Donna, who is Beth’s daughter, as the beneficiary.

Testator’s only surviving blood relatives are Adam, Beth, Charles, and Donna. In addition to the portrait of his grandparents, the antique bookcase, and the motorcycle, Testator’s only other asset was a bank account with a balance of \$10,000.

State A permits wills to be completely or partially revoked by the execution of a subsequent will or codicil, or by physical act or by cancellation when accompanied with an intent to revoke the will or codicil. State A law also provides that “unsigned holographic wills or codicils are valid.” There are no other relevant statutes.

To whom should the property in Testator’s estate be distributed? Explain.

FEBRUARY 2021 MEE
QUESTION 3 – CIVIL PROCEDURE

A man was driving his truck on a divided highway in State B when the truck collided with a car driven by a woman. As a result of the collision, the man lost control of his truck, which skidded off the road into a deep ravine. The woman's car was knocked into the highway median and rolled over several times before coming to a stop. The truck and its cargo were damaged beyond repair, but the man was not injured. The woman, on the other hand, suffered serious injuries. A passenger in the woman's car was also seriously injured.

Two lawsuits resulted from the collision.

In the first lawsuit, the man, a citizen of State B, sued the woman, a citizen of State A, in the United States District Court for the District of State A. The man alleged that the woman had caused the accident by negligently changing lanes while he was attempting to pass her and that he, the truck driver, had exercised due care and caution at all times. The man's complaint sought damages of \$98,000—the value of the truck, trailer, and cargo. The woman answered the complaint, denying that she had driven negligently and asserting that the man had caused the accident by driving well above the speed limit and failing to look out for other vehicles on the road. The woman raised no other claims or defenses in her answer.

Following a bench trial in which both sides offered evidence as to the cause of the accident and the actions of each party, the judge entered judgment for the woman. The judge issued a short opinion finding, as a matter of fact, that “both the woman and the man operated their vehicles negligently” and that “both were at fault in causing the accident.” The judge further correctly concluded, as a matter of law, that the contributory negligence law of State B applied. In addition, the judge concluded that the man could not recover because his negligence had contributed to the accident. The judgment was promptly entered denying all relief to the man and awarding costs to the woman. The man did not appeal, and the judgment became final three months ago.

One month ago, the woman and the passenger joined together in a second lawsuit. In this lawsuit they sued the man to recover damages for the personal injuries they had suffered in the accident as a result of his negligence. Like the woman, the passenger is a citizen of State A. This lawsuit was filed in the United States District Court for the District of State B. The woman and the passenger are each seeking damages well in excess of the \$75,000 diversity-jurisdiction threshold, and their claimed injuries warrant such damages. The man has filed an answer denying liability and raising several defenses including that the claims by the woman and the passenger are precluded by the earlier suit.

1. Do the Federal Rules of Civil Procedure permit the woman and the passenger to join their individual claims in a single lawsuit against the man? Explain.
2. Is the woman precluded from bringing her claim as a result of the judgment in her favor in the lawsuit brought by the man in federal court in State A? Explain.

3. Is the man precluded from denying that he was negligent with respect to the passenger as a result of the judgment against him in the lawsuit he brought against the woman in federal court in State A? Explain.

FEBRUARY 2021 MEE
QUESTION 4 – SECURED TRANSACTIONS

KeyCo, a company that manufactures keys, has had significant cash flow problems as a result of market trends away from keys and toward electronic locks. Accordingly, last year KeyCo borrowed money on three occasions.

On February 1, KeyCo borrowed \$200,000 from Firstbank. Pursuant to an agreement signed by both parties, KeyCo promised to repay the loan within two years and granted Firstbank a security interest in “all of KeyCo’s assets” to secure its repayment obligation. On the same day, Firstbank filed a properly completed financing statement in the appropriate filing office, listing KeyCo as the debtor and indicating the collateral as “all of KeyCo’s assets.”

On April 1, KeyCo borrowed \$400,000 from Secondbank. Pursuant to an agreement signed by both parties, KeyCo promised to repay the loan within four years and granted Secondbank a security interest in “all of KeyCo’s equipment” to secure its repayment obligation.

On June 1, KeyCo borrowed \$600,000 from Thirdbank. Pursuant to an agreement signed by both parties, KeyCo promised to repay the loan within six years and granted Thirdbank a security interest in “all of KeyCo’s equipment” to secure its repayment obligation. At the time of this transaction, Thirdbank knew about KeyCo’s transactions with Firstbank and Secondbank as described above.

On August 1, Thirdbank filed a properly completed financing statement in the appropriate filing office, listing KeyCo as the debtor and indicating the collateral as “all of KeyCo’s equipment.”

On October 1, Supplier obtained a judgment against KeyCo for an unpaid debt and, in connection with that judgment, obtained a lien on KeyCo’s key-manufacturing machine.

Except as described above, no financing statements have been filed that list KeyCo as the debtor.

KeyCo has defaulted on its obligations to Firstbank, Secondbank, and Thirdbank. Each of those banks, as well as Supplier, is asserting an interest in the key-manufacturing machine.

1. Which banks, if any, have enforceable security interests in the key-manufacturing machine? Explain.
2. Which banks, if any, have perfected security interests in the key-manufacturing machine? Explain.
3. What is the order of priority of the enforceable security interests and Supplier’s lien on the key-manufacturing machine? Explain.

FEBRUARY 2021 MEE
QUESTION 5 – REAL PROPERTY

Thirty years ago, a man purchased a 170-acre tract of farmland. The farmland was bordered on the east by a county road that connected to the main street of a small town where the man worked in the local feed store. On the west, the farmland was bordered by a state highway.

Immediately after acquiring the farmland, the man built and moved into a house on its easterly portion. He constructed a vehicle shed on the westerly portion of the farmland in which he stored farm tractors and some of his cars. He then built a 10-foot-wide east-west gravel road that stretched across the entire farmland connecting the county road to the state highway. This gravel road allowed the man to travel between his house and the vehicle shed and also to drive tractors and cars out of the shed and onto the county road. It additionally gave him two routes from his house to the small town. It took the man 15 minutes to drive to town using the county road; using the state highway, which resulted in a more circuitous trip, took 45 minutes.

After building the gravel road across the farmland, the man usually used the county road to drive to work, although occasionally he used the state highway. On weekends, however, when he wasn't working, he frequently used the state highway because it allowed him to easily reach other towns where he visited friends.

Two years ago, the man conveyed the westernmost 90 acres of the farmland, including the vehicle shed, to a woman who worked in the same feed store as the man. This 90-acre portion included the western portion of the gravel road that the man had constructed across the property. The deed conveying the westernmost 90 acres to the woman did not mention the gravel road, and the deed was not recorded. The woman built a house on the 90 acres and moved in. She used the gravel road across the man's land to access the county road when driving to work.

One year ago, the woman conveyed her 90 acres to a friend, who moved into the house the woman had built. The friend worked in the same small town as the man and the woman, and the friend also used the gravel road across the man's land to access the county road. The deed conveying the property to the friend stated that the woman was conveying to the friend the 90 acres, together with "the right to use the gravel road" crossing the adjacent 80 acres owned by the man to reach the county road. This woman-to-friend deed was promptly recorded.

Five months ago, the man conveyed his 80 acres to a builder by a deed that made no mention of the gravel road. The builder paid the man fair value for the land and promptly recorded this man-to-builder deed.

Four months ago, the builder erected a barrier across the gravel road. The barrier prevented the friend from using the gravel road across the builder's land to reach the county road.

Three months ago, the friend recorded the man-to-woman deed.

The land is in a state that has a notice-type recording act and uses a grantor-grantee index. In this jurisdiction, the time to acquire an easement by prescription is 20 years.

1. Before the man's conveyance to the builder, did the friend have an implied easement from prior use over the man's 80 acres? Explain.
2. Assuming that the friend had an implied easement from prior use, did the builder take ownership of the 80 acres free and clear of that easement? Explain.

FEBRUARY 2021 MEE
QUESTION 6 – CONTRACTS

A grocer planned to open a supermarket and needed shopping carts for her store. On March 1, she went to the showroom of a shopping-cart supplier to look at a variety of samples of modern shopping carts. After looking around the showroom, the grocer pointed to a shopping cart that bore a price tag of \$125 and said to the supplier, “These are the carts I want for my store. When can you get me 100 of them?” The supplier said that he could deliver 100 of those shopping carts to the grocer’s supermarket within 30 days. The grocer responded, “That’s great. Please ship me 100 of these shopping carts by March 31, and I will wire you payment of \$12,500 as soon as they arrive.” The supplier said, “You’ve got a deal!”

On March 2, the grocer sent the supplier an unsigned note, handwritten on plain paper, stating in its entirety: “It’s a pleasure doing business with you. This will confirm the deal we made yesterday for 100 shopping carts at \$125 each.” The supplier received the note on March 4 and read it immediately but never responded to it in any way.

On March 31, the grocer received an envelope delivered by an express delivery service. Inside the envelope was a document printed on the supplier’s letterhead. The document stated, in its entirety: “Thanks so much for your business. The 60 shopping carts you ordered from us are on the way. Be on the lookout for our delivery truck—it may even arrive today! Please send us payment of \$7,500 (60 carts x \$125/cart) as soon as you receive the carts.”

Later that day, the supplier’s truck arrived at the grocer’s supermarket, and the truck driver said to the grocer, “I’ve got 60 shopping carts for you in the truck.” The grocer replied, “I didn’t order 60 shopping carts; I ordered 100. You go back to your boss and tell him to send me the right order.” The grocer refused to allow the truck driver to unload the 60 shopping carts from the truck and did not pay for them.

The grocer would like to sue the supplier for breach of contract for failing to deliver 100 shopping carts.

Is there an enforceable contract requiring the supplier to sell 100 shopping carts to the grocer for \$125 each? Explain.

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FEBRUARY 2021 MEE
ANALYSIS 1 – AGENCY & PARTNERSHIP

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

The objective of this question is to test whether the examinee can differentiate between a partner, an employee, and a non-employee agent and determine what the woman's liability would be depending on the characterization of the man's relationship to the woman.

Legal Problems:

- (1)(a) Are the woman and the man partners in the food-truck business?
- (1)(b) Assuming that the woman and the man are partners in the food-truck business, would the woman be liable to the farmer for damages proximately caused by the man's negligence?
- (2)(a) Is the man an employee of the woman?
- (2)(b) Assuming that the man is an employee of the woman, would the woman be vicariously liable to the farmer for damages proximately caused by the man's negligence?
- (3)(a) Is the man the woman's non-employee agent?
- (3)(b) Assuming that the man is the woman's non-employee agent, would the woman be vicariously liable to the farmer for damages proximately caused by the man's negligence?

DISCUSSION

Summary

The liability of the woman to the farmer for the man's negligence depends on the nature of the legal relationship between the woman and the man. There are three possible relationships that could result in liability, each carrying different liability implications for the woman. These relationships are partnership, employment, and agency.

It is unlikely that the woman and the man are partners. Beyond buying and delivering produce as requested, the man does not participate in the control and management of the food-truck business. Thus, it is unlikely that he is a co-owner of the business. Furthermore, the woman's agreement to share some of her business profits with the man would likely be seen merely as partial compensation for his services. However, if they are partners, then the woman would be jointly and severally liable with the man for the obligations of the partnership. The man's

negligence, if it occurred while the man was carrying on ordinary partnership business as appears to be the case here, would create a partnership obligation and expose the woman to potential liability to the farmer.

It is unlikely that the man is an employee of the woman because she does not have control over the “manner and means” by which he makes purchases on her behalf at the farmers’ market. Merely following the woman’s text instructions to buy specific types of produce does not make him an employee. However, if the woman is the man’s employer, then the woman would be vicariously liable for negligent actions by the man if, as appears to be the case here, he was acting within the scope of his employment.

It is likely that the legal relationship between the woman and the man is that of principal-agent, with the man acting as a non-employee agent (independent contractor) of the woman. Thus, the woman would not be liable for the man’s negligence because principals generally are not liable for the negligence of their non-employee agents in the absence of an authorization by the principal for the agent to act negligently.

Point One(a) (20%)

It is unlikely that the woman and the man are partners because the man does not participate in the control and management of the food-truck business, even though they have an agreement to share profits.

A partnership is defined as “an association of two or more persons to carry on as co-owners a business for profit . . . whether or not the persons intend to form a partnership.” Revised Uniform Partnership Act (RUPA, as amended 2013) § 202(a); *see also* Uniform Partnership Act (UPA, 1914) § 6(1). In addition, “[a] person who receives a share of the profits of a business is presumed to be a partner in the business, unless the profits were received in payment . . . for services as an independent contractor or of wages or other compensation of an employee.” RUPA § 202(c)(3); *see also* UPA § 7(4) (receipt of share of profits is “prima facie evidence” of partnership, unless profits were received in payment of employee wages). Thus, the sharing of profits in a business creates a rebuttable presumption of a partnership that switches the burden of persuasion to the person who denies partnership status. *See* Comment, RUPA § 202(c).

Here, the woman should be able to rebut the presumption that her sharing of 10% of the food truck’s profits with the man created a partnership. There is no indication that the man is a “co-owner” of the business, given that there is no indication that he has any control over running the food-truck business. *See* Comment, RUPA § 202(a) (stating that “co-ownership is a key concept” that requires both the “power of ultimate control” of the business and the “right to share in the [business] profits”). The man’s only role in the business is to purchase produce in the morning and drop it off at the food truck. According to the facts, the woman has continued to run the business as a sole proprietor, doing all the work related to the business except for the purchase of the produce.

Furthermore, although the man is entitled to 10% of the food truck’s profits and \$20 per delivery, the facts strongly suggest that this is compensation for his services as the woman’s independent-

contractor agent, not as a partner. *See* Point Three(a) below. That amount was proposed to him in response to the question, “And how much would I be paid?” not “How will we share profits?”

Thus, even though the man’s negligence occurred in the ordinary course of the woman’s business, it is unlikely she would be liable as his partner.

Point One(b) (13%)

Assuming that the woman is the man’s partner, she would be liable to the farmer for damages caused by the man’s negligence while acting in the ordinary course of the partnership business.

Generally, a partnership is liable for loss or injury caused to a third party because of the wrongful act of a partner acting in the ordinary course of partnership business. RUPA § 305(a); UPA § 15. Further, all partners are personally liable for all liabilities of the partnership. RUPA § 306(a) (joint and several liability for all partnership debts, obligations, and liabilities, unless the partnership liability arose before the person became a partner or the partnership is a limited liability partnership); *see also* UPA § 15(a) (joint and several liability for partnership liability arising from partner’s wrongful acts). Thus, if the woman and the man are partners in a partnership, the woman would be liable for the negligence of the man in running into the farmer’s stall, as it appears that the man, assuming he is the woman’s partner, was acting in the ordinary course of partnership business.

Point Two(a) (20%)

The man is not an employee of the woman because she does not have the right to control the “manner and means” of how he performs his work.

An employee is a type of agent. Generally, an “agent” is a person who consents to act on behalf of and subject to the control of another person (the “principal”). Restatement (Third) of Agency § 1.01. “[A]n employee is an agent whose principal controls or has the right to control *the manner and means* of the agent’s performance of work.” *Id.* § 7.07(3)(a) (emphasis added).

Here, the man is acting as an agent of the woman, purchasing produce for her at the farmers’ market. Whether the woman is his employer depends on whether she has the right to control the “manner and means” of the man’s purchasing and delivery of produce for her food-truck business. Each night, the woman directs what type of produce the man is to purchase the next morning, and she briefly accompanied the man to the farmers’ market during the first days he worked for her. But the more significant purchasing tasks are lodged in the man. He alone chooses the vendors from whom he purchases the produce, and he alone chooses the produce before dropping it off at the woman’s food truck in the morning. In fact, the woman does not have the right to control which farmers the man purchases from or the specific produce that he purchases. *See also* Restatement (Second) Of Agency § 220(1) (servant is subject to control of master with respect to “physical conduct in the performance of the services”).

In addition, many of the factors that might suggest the existence of an employer-employee relationship are absent from the relationship between the woman and the man. The woman and the man did not agree that she would exercise control over “the details” of his work; the man’s purchasing of produce is done without the woman’s supervision; the man (not the woman)

supplies the car for driving to, picking up, and delivering the produce; the man is not paid for time worked, but instead by the job (daily purchase of produce); and the man pays for the produce with his own credit card rather than with the woman's credit card. *See* Official Comment to Restatement (Third) Of Agency § 7.07(2) (listing factors used by courts to identify existence of employer-employee relationship); *see also* Kleinberger, Agency, Partnerships and LLCs: Examples & Explanations § 3.2.4 (5th ed. 2017).

Point Two(b) (14%)

Assuming that the man is the woman's employee, she would be vicariously liable for the damage to the farmer's stall proximately caused by the man's negligence because he was acting within the scope of his employment.

Generally, an employer is subject to vicarious liability for torts committed by an employee "acting within the scope of employment." Restatement (Third) of Agency §§ 2.04, 7.07(1). Thus, if the man is an employee of the woman, the woman would likely be liable for the man's negligence in driving into the farmer's stall, as it appears here that driving to and from the farmers' market is within the scope of the man's employment.

[NOTE: An examinee might point out that participants in a business can become directly liable for the negligent hiring or supervision of an employee or agent. *See id.* § 7.05. The answer, however, should not receive credit for making this point. The question asks only for an analysis of the woman's *vicarious* liability to the farmer given her relationship with the man. Further, there is nothing to indicate that the woman was negligent in hiring or supervising the man.]

Point Three(a) (20%)

The man is a non-employee agent (independent contractor) of the woman because he agreed to act on her behalf but not subject to her control regarding the manner and means by which he performs his work.

As described above, an "agent" is a person who consents to act on behalf of and subject to the control of another person (the "principal"). Restatement (Third) of Agency § 1.01. An independent contractor is an agent who is not subject to the principal's control of the "manner and means" by which the agent conducts his work for the principal. Here, the man agreed to perform acts on behalf of the woman, but his acts are not subject to her control. Thus, he is a non-employee agent for the woman.

Point Three(b) (13%)

Even assuming that the man is acting as a non-employee agent (independent contractor) on the woman's behalf, the woman is not vicariously liable to the farmer for the man's negligence on This basis.

The general rule is that a principal is not liable for the negligence of a non-employee agent acting on behalf of the principal unless the principal actually authorized the agent to act in a negligent manner. Restatement (Third) of Agency § 7.04. Here, the man is a non-employee agent

(independent contractor) of the woman for purchasing produce at the farmers' market. The woman did not authorize him to act negligently. Thus, she is not vicariously liable to the farmer.

[NOTE: Vicarious liability of a principal for the torts of an independent-contractor agent may also arise in certain special circumstances: when the independent contractor injures an invitee to the principal's property (Restatement (Second) of Torts § 415); when the independent contractor is involved in an ultra-hazardous activity, such as blasting with explosives (*id.* §§ 423, 427A); or when the principal has held out the independent contractor to the injured party as an employee (*Wabash Indep. Oil Co. v. King & Wills Ins. Agency*, 618 N.E.2d 1214, 1218 (Ill. App. 1993)). An examinee should not receive credit for discussing these exceptions because there is nothing in the facts to suggest that any of them apply here.

Similarly, credit should not be given for the observation that a principal can become directly liable for the negligent hiring or supervision of an employee or agent because the question asked only for an analysis of the woman's *vicarious* liability to the farmer given her relationship with the man.]

FEBRUARY 2021 MEE ANALYSIS 2 – DECEDENTS' ESTATES

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

This question tests basic principles of the law relating to the revocation of wills, the incorporation-by-reference doctrine, and an intestate-succession law.

Legal Problems:

- (1) Was the bequest of the portrait of Testator's grandparents to Adam properly revoked, such that the portrait passes to Charles?
- (2) Is Beth entitled to receive the antique bookcase, the motorcycle, or neither?
- (3) Is Donna entitled to the balance of Testator's tangible personal property under the doctrine of incorporation by reference?
- (4) To whom should the undisposed-of property (the bank account) be distributed?

DISCUSSION

Summary

The bequest to Adam was revoked by the holographic codicil on the back of the typewritten will, and thus the portrait passes to Charles, who is specifically named in the codicil as the beneficiary of the portrait.

The bequest of the antique bookcase was revoked physically by Testator's drawing of scratch marks through it, and the gift of the motorcycle is not effective because it was not made by a valid will. And because the doctrine of dependent relative revocation is not applicable here, Beth is not entitled to either.

Both the bookcase and the motorcycle pass to Donna under the express terms of the June 15 letter that was incorporated by reference into the July 1 will.

The balance of the estate passes to Adam and Beth, Testator's siblings, his only heirs.

Point One (30%)

The portrait of Testator's grandparents passes to Charles, the named beneficiary under the writing on the back of the will, which is a valid holographic codicil.

State A law permits wills to be completely or partially revoked by the execution of a subsequent will or codicil or by physical act or cancellation with the intent to revoke. Neither the scratching

out of the phrase “antique bookcase” nor the typing in of the word “motorcycle” on the face of the will suggests that Testator intended to revoke the entire will or the bequest to Adam of the portrait. On the other hand, on the back of the will, Testator wrote: “I don’t want Adam to have the portrait of my grandparents. I want it to go to my first cousin, Charles.” Because this writing does not come into physical contact with the words of the will, they are not words of cancellation that revoke the will. *Thompson v. Royall*, 175 S.E. 748 (Va. 1934). *But see* Unif. Prob. Code § 2-507 (permitting revocation by cancellation even though words of cancellation do not touch words of the will). Under the laws of State A, however, these words can be effective as a holographic codicil.

A holographic codicil can revoke an earlier will. *See generally Mangum v. Estate of Fuller*, 797 S.W.2d 452 (Ark. 1990). If the subsequently executed holographic codicil disposes of only a part of the estate disposed of by a prior will, then the will is revoked only to the extent that it is inconsistent with the provisions of the holographic codicil. *See, e.g., Gilbert v. Gilbert*, 652 S.W.2d 663 (Ky. Ct. App. 1983). *See also* Unif. Prob. Code § 2-507(a)(1) (partial revocation by inconsistency). Here, the holographic codicil is inconsistent with the typewritten will only to the extent that it leaves the portrait of Testator’s grandparents to Charles rather than Adam. Thus, no other disposition in the typewritten will is revoked.

[NOTE: In some states, the handwriting on the back of the will would not be a valid holographic will because of underlying state statutes requiring holographic wills to be signed. *See, e.g.,* Unif. Prob. Code § 2-502(b) (requiring holographic wills to be signed). State A, however, has no signature requirement for holographic wills.]

Point Two (30%)

The bequest of the antique bookcase to Beth was revoked by physical act. Testator revoked the original bequest with the apparent intent to substitute for it a bequest of the motorcycle. However, the substituted bequest does not constitute a holographic will because it was typewritten rather than handwritten. Furthermore, the doctrine of dependent relative revocation is unlikely to apply to prevent the bequest of the bookcase from being revoked.

Under State A law, a bequest may be revoked by cancellation if the cancellation is accompanied by an intent to revoke. When a will is found with marks of cancellation upon it (here, the scratches through the phrase “antique bookcase”), a presumption arises that such marks were made by the testator with the intent to revoke. *See generally* William M. McGovern, Sheldon F. Kurtz, David M. English, And Thomas P. Gallanis, *Wills, Trusts and Estates* § 4.2 at pp. 192–93 (5th ed. 2017). Here, the facts clearly state that the marks were made by Testator and, in light of the presumption, made by Testator with the intent to revoke. However, typing the word “motorcycle” above “antique bookcase” suggests that Testator revoked the bequest of the bookcase to substitute for it a bequest of the motorcycle. Because that typed bequest was neither signed nor witnessed nor in Testator’s handwriting, it is not a valid will. Thus, Beth takes nothing unless the revocation of the bequest of the bookcase can be avoided under the doctrine of dependent relative revocation.

Under the doctrine of dependent relative revocation, a revocation can be deemed conditional on the validity of a subsequently executed will or codicil if that would accomplish the testator’s intent. *Id.*, § 4.3 at 198. Under this doctrine, if the subsequently executed will is invalid, then the

revocation that was dependent upon it is ignored. *Id.* Typically, however, courts apply that doctrine only when there is a sufficiently close identity between the bequest that was revoked and the bequest that was expressed in the invalid subsequent will. Here, there is no close identity between a bookcase and a motorcycle, and accordingly a court is unlikely to apply the doctrine of dependent relative revocation to prevent the bequest of the bookcase from being revoked. If, on the other hand, Beth could find evidence that Testator's revocation of the antique bookcase bequest was conditional, then she would be entitled to the bookcase. *See* Point Three for disposition of the bookcase and the motorcycle.

Point Three (30%)

Under the doctrine of incorporation by reference, Donna is entitled to the balance of Testator's tangible personal property.

Under the doctrine of incorporation by reference, a will may refer to an unattested written document and incorporate its terms into the will so long as that written document was in existence at the time the will was signed and the evidence is clear that the testator intended to incorporate its terms into the will. *See, e.g., Smith v. Weitzel*, 338 S.W.2d 628 (Tenn. Ct. App. 1960); McGovern et al., *supra*, § 7.2 at 281 (2017). *See also* Unif. Prob. Code § 2-510. If such a document is incorporated, the dispositive provisions in it are given the same effect as if they had been set forth in the duly attested will. Here, the letter referred to in Testator's will was dated June 15, 2015. Thus, it was in existence on the date Testator signed the will, July 1, 2015. Testator's will specifically refers to the letter by date and reflects a clear intent that the disposition in the letter be given effect. Donna should be entitled to all of Testator's tangible personal property not otherwise effectively disposed of—namely, the bookcase and the motorcycle. *See* Point Two.

[NOTE: Some states have statutes that specifically authorize the bequest of tangibles in the manner used here and validate such bequests even if the memo was executed after the will. *See, e.g.,* Unif. Prob. Code § 2-513. State A has no such statute.]

Point Four (10%)

The bank account should be distributed to Adam and Beth as the sole heirs of Testator.

The bank account is not tangible personal property; thus, it was not disposed of by Testator's will. Where a testator's will fails to dispose of all of the testator's property, the undisposed-of property passes to the testator's heirs as partial intestate property. *See, e.g., Estate of Levy v. Hebrew Tech. Inst.*, 196 So. 2d 225 (Fla. Dist. Ct. App. 1967). Typically, the intestacy laws of the states provide that, absent descendants or a spouse, an intestate's property is distributed to (1) parents, (2) the descendants of the parents (that is, the intestate's siblings and their descendants), (3) more remote ancestors, and (4) the descendants of the more remote ancestors, in that order. Here, Testator's closest living relatives are his siblings, Adam and Beth, and as such they are equally entitled to all of Testator's property not disposed of by Testator's will. Here, that is the bank account.

**FEBRUARY 2021 MEE
ANALYSIS 3 – CIVIL PROCEDURE**

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

This question is designed to test an examinee's understanding of three important rules/principles of federal civil procedure. First, it tests knowledge of the right of individuals to bring their separate claims in the same federal action when those claims arise out of the same occurrence and raise a common question of fact. Second, it tests an examinee's knowledge of the compulsory counterclaim rule and its effects on subsequent litigation. Finally, it tests on the doctrine of collateral estoppel and when application of that doctrine will bar a litigant from re-litigating an issue.

Legal Problems:

- (1) May two individuals who are injured in the same highway accident join their separate claims against the alleged wrongdoer in a single lawsuit in federal court?
- (2) Is a person who is sued as a defendant in a lawsuit arising out of a highway accident, and who wins the case, precluded from bringing a subsequent lawsuit against the original plaintiff when that subsequent suit raises a claim that arises from the same highway accident and that could have been raised as a counterclaim in the prior lawsuit?
- (3)(a) Is a party to an action precluded from litigating in a subsequent suit a factual issue that arose in a previous action?
- (3)(b) May a nonparty to a prior lawsuit preclude a party to that suit from subsequently re-litigating an issue that was litigated and decided in the prior lawsuit?

DISCUSSION

Summary

Under the Federal Rules of Civil Procedure, the woman and the passenger may bring their individual claims against the man in a single lawsuit because those separate claims each arise out of the same occurrence (the highway accident) and resolution of each claim will involve the determination of at least one common issue (the man's negligence).

The woman's claim should be dismissed from the second lawsuit. Her claim arises out of the highway accident that was the subject of the man's original lawsuit against her in State A. Under the federal compulsory counterclaim rule, she should have raised this claim in that first lawsuit. Her failure to do so bars her from bringing a new, independent action on the claim.

Under general principles of issue preclusion (collateral estoppel), the passenger is likely to be able to assert that the man is precluded from re-litigating the issue of his negligence in the highway accident. That exact issue was litigated by the man in the prior action, the prior court made an explicit determination that the man was negligent, and that determination was necessary to the court's final judgment on the merits. Finally, there is nothing to suggest that the man was inadequately represented in the prior action or that he did not have a full and fair opportunity to litigate the negligence issue. Thus, he should be precluded from re-litigating that issue in the State B action.

Whether the passenger can assert issue preclusion against the man depends, however, on whether the issue-preclusion rules of State A (where the federal court in the first suit was sitting in diversity) include the doctrine of "mutuality of estoppel." If State A applies the mutuality doctrine, the nonparty passenger would not be able to rely on the judgment from a federal diversity court sitting in State A to preclude the man from litigating the question of his negligence in a second suit brought against him by the passenger in a federal court in State B.

Point One (25%)

The woman and the passenger may bring their separate claims in the same federal action because those claims arise out of the same occurrence and raise a common question of fact—i.e., whether the man was negligent in the highway accident.

Two persons may bring their separate claims in a single lawsuit in federal court if (1) those claims "aris[e] out of the same . . . occurrence," and (2) "any question of law or fact common to all plaintiffs will arise in the action." Fed. R. Civ. P. 20(a)(1). On the facts of this problem, the woman and the passenger easily meet these requirements. First, a single occurrence (the highway accident) gave rise to each of their claims. Second, the factual question whether the man was negligent will arise in the action and is common to both claims. Thus, the woman and the passenger may join together as plaintiffs in this federal action in State B.

Point Two (35%)

The woman's claim for damages arising from the accident is barred because she should have pleaded it as a compulsory counterclaim in the earlier federal action in State A brought against her by the man.

Under the "compulsory counterclaim" rule applicable in federal courts, a defendant must include in her answer to a complaint "any claim" that the defendant has against the plaintiff that "arises out of the transaction or occurrence that is the subject matter of the [plaintiff's] claim." Fed. R. Civ. P. 13(a). Thus, when the man filed suit against the woman in federal district court in State A for damages related to the highway accident, the woman was *obligated* to assert in her answer "any claim" that she had against the man that arose out of that same accident. The facts state, however, that she did not assert any claim in the man's suit.

It is well established that "[a] failure to plead a compulsory counterclaim bars a party from bringing a later independent action on that claim." Arthur R. Miller, Mary Kay Kane & A. Benjamin Spencer, 6 Fed. Prac. & Proc. Civ. 1417 (3d ed. 2016). Although this result is not required by the language of the rule itself, some courts treat the subsequent action as barred by res judicata or claim preclusion, on the theory that Rule 13(a) effectively makes a compulsory

counterclaim part of the “claim” that was decided in the first suit. *See, e.g., Publicis Commc’n v. True North Commc’ns, Inc.*, 132 F.3d 363 (7th Cir. 1997). Other courts have concluded that a “failure to assert a compulsory counterclaim constitutes a waiver of that claim.” *Polymer Indus. Prods. Co. v. Bridgestone/Firestone, Inc.*, 347 F.3d 935, 938 (Fed. Cir. 2003). Whatever the theory, a party that “does not assert its compulsory counterclaim in the first proceeding . . . is forever barred from asserting that claim in future litigation.” *Id.*

The woman’s claim for damages arises from the injuries she suffered in the highway accident and raises the factual question of who was responsible for the accident. Under the compulsory counterclaim rule, she should have asserted her claim as a counterclaim in the action the man filed against her based on that same accident. Because she failed to do so, she is barred from bringing her claim in the current action.

Point Three(a) (30%)

The issue of the man’s negligence was necessary to the judgment in the first lawsuit (in State A), was fully and fairly litigated in that action, and was finally decided in that action. Therefore, the man is precluded from re-litigating that issue in the second lawsuit (in State B).

The doctrine of collateral estoppel, or issue preclusion, provides generally that factual matters that are “put in issue and directly determined by a court of competent jurisdiction” must “be taken as conclusively established” if the same factual issue arises in a subsequent suit. *Southern Pacific R. Co. v. United States*, 168 U.S. 1, 48–49 (1897). *See also Allen v. McCurry*, 449 U.S. 90, 94 (1980). A party who asserts that collateral estoppel precludes re-litigation of a factual issue must establish that

- (1) the previous determination was necessary to the decision; (2) the identical issue was previously litigated; (3) the issue was actually decided in a decision that was final, valid, and on the merits; and (4) the party being precluded from re-litigating the issue was adequately represented in the previous action.

United Access Technologies LLC v. CenturyTel Broadband Services LLC, 778 F.3d 1327, 1331 (Fed. Cir. 2015). *See generally* Restatement (Second) of Judgments § 27 (1982).

Here, the passenger should be able to establish all the elements required to bar the man from re-litigating the issue of his negligence in the highway accident. First, the factual question of whether the man drove negligently was clearly an essential question in the man’s original action against the woman in State A. He explicitly pleaded that he was not negligent, and under the applicable contributory negligence rule, he was required to prove his lack of negligence in order to recover from the woman. Given that the judge in that action concluded that the woman was negligent, it was necessary for the judge also to determine whether the man was negligent. Second, the issue of the man’s negligence was actually litigated by the parties. Third, the court made a final decision on the merits in the first lawsuit, concluding that the man was negligent, and there are no facts that raise any question about the validity of that decision. Finally, the man had every incentive to litigate vigorously—he brought the action himself and was seeking a substantial recovery—and nothing in the facts of the problem suggests that he was not adequately represented.

[NOTE: The man’s “contributory negligence” found in the first suit and the man’s “negligence” asserted in the second suit appear to constitute the same factual issue. There is nothing to suggest that the tort law of State B, which the judge applied, defines negligence differently depending on whether it is asserted as the basis of a claim or as a defense.]

Point Three(b) (10%)

In most jurisdictions, the passenger’s nonparty status in the original action would not prevent her from asserting issue preclusion. Some jurisdictions, however, continue to adhere to the doctrine of mutuality, which prevents a nonparty to a prior action from asserting issue preclusion against a party to that action. Here, because the prior action was decided by a federal court sitting in diversity in State A, the issue-preclusion rules of State A will determine whether the mutuality doctrine applies or not.

Traditionally, collateral estoppel could only be asserted by a party to a prior action or by someone who was otherwise bound by the result in that action. However, most jurisdictions have moved away from this “mutuality” requirement. *See* Jack H. Friedenthal, Mary Kay Kane & Arthur R. Miller, *Civil Procedure* § 14.14 (4th ed. 2005). The Supreme Court long ago abandoned mutuality in the federal courts involving federal claims. As a result, “a litigant who was not a party to a [prior] federal case [may] use collateral estoppel ‘offensively’ in a new federal suit against the party who lost on the decided issue in the first case,” unless allowing estoppel would be unfair. *Allen v. McCurry*, 449 U.S. 90, 94–95 (1980). However, some state courts continue to apply the doctrine of mutuality. In these states, a nonparty who would not be bound by a finding in the first suit contrary to the nonparty’s interest cannot use a finding from the first suit that is favorable to the nonparty. Friedenthal Et Al., *supra*, at 724.

In this diversity case, even though the first judgment is from a federal court, the applicable preclusion rules will be state rules. In *Semtek International, Inc. v. Lockheed Martin Corp.*, 531 U.S. 497 (2001), the Supreme Court held that the claim-preclusive effect of a judgment of a federal diversity court should ordinarily be determined by the claim-preclusion rules “that would be applied by the state courts in the State in which the federal diversity court sits.” Although *Semtek* only addressed claim preclusion, lower courts have assumed that it applies as well to issue preclusion. *See, e.g., Algonquin Power Income Fund v. Christine Falls of New York, Inc.*, 362 Fed. Appx. 151 (2nd Cir. 2010) (stating that the claim- and issue-preclusive effects of the judgment of a federal diversity court sitting in New York are determined by New York law). Although state rules of preclusion generally apply in these circumstances, the question of the effect of a federal judgment remains a question of federal law, and state rules can be ignored “in situations in which the state law is incompatible with federal interests.” *Semtek*, 531 U.S. at 509.

Here, because the first judgment is from a federal court sitting in diversity in State A, *Semtek* requires application of the issue-preclusion rules of State A. The problem, however, does not indicate whether State A has abandoned the mutuality doctrine (as have most states) or continues to apply the doctrine. If State A continues to adhere to the doctrine, the passenger, who would not have been bound had the first court (in State A) found that the man was not negligent, will not be able to offensively assert that the man is bound by the finding that he *was* negligent. That is, the mutuality doctrine will prevent the passenger from using issue preclusion against the man. If State A does not apply the mutuality doctrine, then the passenger can use the finding that the man was negligent offensively in the suit in State B.

[NOTE: Although there is nothing to suggest that following State A's rules of issue preclusion would be incompatible with federal interests, applying State A law to decide the separate issue of whether the woman can sue the man (*see* Point Two) would be incompatible with federal interests. If State A law allowed the woman to bring her claim despite her failure to raise it in the original federal action, that result would undermine the federal compulsory counterclaim rule.]

[NOTE: Examinees who apply the federal issue-preclusion rule may discuss the issue of whether it is fair to allow a nonparty to assert preclusion in a particular case. The factors that have generally been considered relevant in assessing fairness in this context include (i) whether the nonparty could easily have joined the prior action; (ii) whether the subsequent litigation was foreseeable so that the party against whom preclusion is sought had an incentive to litigate vigorously in the first action; (iii) whether there are inconsistent judgments arising from the same incident; and (iv) whether more favorable procedures in the second action raise the possibility that re-litigation of the issue may lead to a different outcome. *See* Friedenthal Et Al, *supra*, § 14.14, at 728.

Here, there is no obvious unfairness. First, the passenger could not have joined or intervened in the man's original action. Even if the man had wanted her as a co-plaintiff, the passenger shares the same state citizenship as the woman and her joinder would have destroyed diversity and resulted in dismissal of the original action for lack of diversity jurisdiction. Second, it was certainly foreseeable to the man that there might be a suit for personal injuries by the other persons involved in the accident, so he had a strong incentive to litigate the negligence issue vigorously. Third, there is no risk here of inconsistent judgments; to the contrary, collateral estoppel will promote consistency in the results of the suits arising from this accident. Finally, both this suit and the original suit are in federal court. The current action does not provide the man with any different procedures that make it likely that re-litigation will lead to an improved or different decision of the issue of his negligence.]

FEBRUARY 2021 MEE
ANALYSIS 4 – SECURED TRANSACTIONS

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

This secured transactions question is intended to test knowledge of the basic elements of enforceability and perfection of security interests as well as priorities between competing security interests and against judgment-lien creditors.

Legal Problems:

- (1) What are the requirements for an enforceable security interest, and which banks have satisfied those requirements?
- (2) What are the requirements for a perfected security interest, and which banks have satisfied those requirements?
- (3)(a) What is the priority of a perfected security interest against an earlier unperfected security interest, when the holder of the perfected security interest knew about the unperfected security interest?
- (3)(b) What is the priority of a security interest against a judicial lien on the same item of property?

DISCUSSION

Summary

Firstbank does not have an enforceable security interest in the key-manufacturing machine because its security agreement does not sufficiently describe the collateral. Secondbank and Thirdbank both have enforceable security interests in the key-manufacturing machine. Secondbank's security interest is not perfected because it neither filed a financing statement with respect to the key-manufacturing machine nor took possession of it. Thirdbank's security interest is perfected because of the filing of the financing statement.

Thirdbank's security interest has priority over that of Secondbank because a perfected security interest has priority over an unperfected security interest even if the perfected secured party was aware of the unperfected security interest. Thirdbank's security interest also has priority over the interest of Supplier, a judgment-lien creditor, because Thirdbank's security interest was perfected before Supplier obtained its judgment lien. Secondbank's security interest is subordinate to the interest of Supplier because the security interest was not perfected at the time that Supplier obtained its judgment lien. Thus, the order of priority of the claims to the key-manufacturing machine is Thirdbank, Supplier, and Secondbank. Firstbank has no claim because its security interest is not enforceable.

Point One (35%)

The security interests of Secondbank and Thirdbank satisfy all three criteria for enforceability. The security interest of Firstbank, however, is not enforceable because its security agreement does not sufficiently describe the collateral.

Article 9 of the Uniform Commercial Code determines whether a security interest in personal property, such as the key-manufacturing machine, is enforceable. Under UCC § 9-203(b), three criteria must be satisfied. First, “value” must be given. UCC § 9-203(b)(1). Second, the debtor must have rights in the collateral or the power to transfer rights in it to the secured party. UCC § 9-203(b)(2). Third, either the debtor must have authenticated (signed or its electronic equivalent, *see* UCC § 9-102(a)(7)) a security agreement that provides a description of the collateral or the secured party must have taken possession of the collateral pursuant to the debtor’s security agreement. UCC § 9-203(b)(3)(A)–(B).

The first two criteria are clearly satisfied for the security interests of all three banks. In each case, the secured party gave “value” (defined in UCC § 1-204 to include situations in which credit has been extended or the secured party provided consideration)—each bank made a loan to KeyCo. Also, the property in question is KeyCo’s key-manufacturing machine, so KeyCo clearly has rights in that machine. However, inasmuch as none of the banks has taken possession of the key-manufacturing machine, their security interests will be enforceable under UCC § 9-203(b)(3) only if, in each case, KeyCo has authenticated a security agreement providing a description of the collateral.

The agreements signed by KeyCo constitute security agreements inasmuch as they are agreements that create or provide for a security interest (UCC § 9-102(a)(74)), and KeyCo’s signature satisfies the requirement that the debtor authenticate the security agreement. But, for enforceability, the security agreement must provide a description of the collateral. UCC § 9-203(b)(3)(A). The standards for a sufficient description of collateral are found in UCC § 9-108. That section does not require a precise or detailed description. Rather, UCC § 9-108(a) states that a description of personal property is sufficient “whether or not it is specific, if it reasonably identifies what is described.” Moreover, UCC § 9-108(b) provides that a description that identifies the collateral by category or by a type of collateral defined in the UCC reasonably identifies the collateral. “Equipment” is a type of collateral defined in the UCC. *See* UCC § 9-102(a)(33). As a result, the statements in the security agreements of Secondbank and Thirdbank indicating that KeyCo granted a security interest in all of its equipment are sufficient to satisfy the requirement that the security agreement contain a description of the collateral. Thus, Secondbank and Thirdbank have enforceable security interests in KeyCo’s equipment. The key-manufacturing machine constitutes equipment. UCC § 9-102(a)(33). Therefore, Secondbank and Thirdbank have enforceable security interests in the key-manufacturing machine.

As for Firstbank, the description of the collateral in its security agreement as “all of KeyCo’s assets” might seem sufficient, but it is not. This is because UCC § 9-108(c) provides that a description of the collateral as “all the debtor’s assets” or “all the debtor’s personal property” or words to that effect does not reasonably identify the collateral. Thus, the so-called “supergeneric” description of the collateral in Firstbank’s security agreement does not sufficiently describe the collateral; as a result, Firstbank does not have an enforceable security interest in KeyCo’s key-manufacturing machine.

[NOTE: With respect to Firstbank’s security agreement, an examinee might point out that “supergeneric” indications of collateral are sufficient in a financing statement under UCC § 9-504(2). This is true but irrelevant. While such indications do suffice in a financing statement, they are insufficient as a description of collateral in a security agreement under § 9-108. An effective financing statement does not cure an ineffective security agreement.]

Point Two (25%)

The security interest of Firstbank is not perfected because it is not enforceable and therefore has not attached. The security interest of Secondbank, albeit enforceable, is not perfected because Secondbank did not file a financing statement and does not have possession of the key-manufacturing machine. The enforceable security interest of Thirdbank is perfected because it has attached and a financing statement has been filed.

A security interest in goods, such as the key-manufacturing machine, is perfected if it has “attached” and either a financing statement has been filed or the secured party has possession of the collateral. UCC §§ 9-308, 9-310. A security interest attaches when it becomes enforceable (unless the parties have agreed to postpone the time of attachment). UCC § 9-203(a). Firstbank does not have an attached security interest in the key-manufacturing machine because it does not have an enforceable security interest in it. Thus, Firstbank’s security interest is unperfected.

Secondbank has an enforceable security interest in the key-manufacturing machine, and there is nothing to indicate that Secondbank agreed to postpone the time of attachment, so its interest has attached. But Secondbank has not filed a financing statement with respect to its security interest and has not taken possession of the key-manufacturing machine. As a result, its enforceable and attached security interest is not perfected.

Thirdbank, like Secondbank, has an enforceable security interest in the machine. Nothing indicates that Thirdbank agreed to postpone attachment, so the interest has attached. Thirdbank filed a properly completed financing statement in the appropriate filing office, listing KeyCo as the debtor and indicating the collateral as “all of KeyCo’s equipment.” Under UCC § 9-504(1), that indication of collateral is sufficient because it is a sufficient description of collateral under UCC § 9-108. As a result, Thirdbank’s security interest is perfected.

[NOTE: An examinee might note that the indication of collateral in Firstbank’s financing statement—“all of KeyCo’s assets”—is a sufficient indication of collateral for a financing statement even though that language is not a sufficient description of collateral for a security agreement. This is accurate but, because a security interest that is not enforceable and attached cannot be perfected, it is not necessary for the analysis.]

Point Three(a) (20%)

Thirdbank’s perfected security interest has priority over the prior unperfected security interest of Secondbank.

Secondbank and Thirdbank have enforceable security interests in the key-manufacturing machine. Priority between competing enforceable security interests is determined by Part 3 of UCC Article 9. Under UCC § 9-322(a)(2), a perfected security interest has priority over an unperfected security interest in the same item of collateral. Whether the perfected secured party

has notice or knowledge of the prior unperfected interest plays no role in the priority determination. Therefore, because Thirdbank's security interest is perfected and Secondbank's security interest is unperfected, Thirdbank's security interest in the key-manufacturing machine has priority over the security interest of Secondbank.

Point Three(b) (20%)

Secondbank's security interest is subordinate to Supplier's judgment lien because the security interest was not perfected at the time that Supplier's lien was created. Thirdbank's security interest is superior to Supplier's judgment lien because the security interest was perfected at the time that the lien was created.

UCC § 9-201 states that, except as provided in the Uniform Commercial Code, a security agreement is effective against creditors. Thus, the security interests of Secondbank and Thirdbank will be effective against the claim of Supplier (a judgment-lien creditor) unless a UCC provision provides to the contrary.

One such provision is UCC § 9-317. Under § 9-317, an unperfected security interest is subordinate to a judicial lien in the same asset. In this case, Secondbank's interest was never perfected. Accordingly, Secondbank's unperfected security interest in the key-manufacturing machine is subordinate to Supplier's lien.

On the other hand, Thirdbank's security interest was perfected before the lien was created. Therefore, Thirdbank's security interest is not subordinate to Supplier's lien; rather, under the general rule of UCC § 9-201, Thirdbank's interest is superior to that of Supplier. Accordingly, the claims to the key-manufacturing machine rank in the following order: Thirdbank, followed by Supplier (the judgment-lien creditor), followed by Secondbank.

[NOTE: The precise language of UCC § 9-317(a)(2) also gives a secured party priority over a judgment-lien creditor if, before the lien was created, the secured party filed a financing statement and the debtor authenticated a security agreement (or the requirements of UCC § 9-203(b)(3) were otherwise satisfied), even if the security interest was not yet perfected because value had not yet been given or the debtor did not yet have rights in the collateral. An examinee who notes this nuance is correct, although the point is not relevant to this question.]

FEBRUARY 2021 MEE ANALYSIS 5 – REAL PROPERTY

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

This question tests the basic elements of an implied easement from prior use and the concept of inquiry notice under the recording acts.

Legal Problems:

- (1) Before the man's conveyance to the builder, did the friend have an implied easement from prior use over the man's 80 acres because
 - (a) at one time the 90 acres and the 80 acres were in common ownership;
 - (b) prior to its sale to the woman, the 90-acre parcel derived a benefit from the 80 acres retained by the man;
 - (c) the use of the gravel road over the 80 acres was apparent;
 - (d) the use of the gravel road over the 80 acres was continuous; and
 - (e) the continuation of the use of the gravel road over the 80 acres was reasonably necessary to the enjoyment of the 90 acres?
- (2) Assuming that the friend had an implied easement from prior use over the man's 80 acres, did the builder take ownership of the 80 acres free and clear of that easement?

DISCUSSION

Summary

The friend had and continues to have an implied easement from prior use over the 80-acre parcel now owned by the builder and previously owned by the man. To acquire an implied easement from prior use, the friend was required to establish that there had been a conveyance from the man to the woman of land once held in common ownership, that the gravel road over the 80 acres benefited the 90 acres, that the man's use of the road had been continuous and apparent, and that continuous use of the road was reasonably necessary for the enjoyment of the 90 acres. The test is easily met here. At one time the man owned both the 90 acres and the 80 acres, his use of the gravel road benefited both the 90 and 80 acres, the use over the 80 acres was apparent and continuous, and the continuation of the use of the gravel road over the 80 acres was reasonably necessary to the enjoyment of the 90 acres.

While the authorities are split on the question of whether easements arising by implication are subject to recording acts, the better view is that they are not. Here, however, it makes no

difference to the outcome because, even if the implied easement from prior use over the gravel road on the 80 acres were subject to the recording act, the builder who purchased the 80 acres would not have been a bona fide purchaser, as the builder would have been on inquiry notice of the easement because the gravel road over both the 80 and 90 acres was clearly visible to the builder. Thus, the builder did not take ownership of the 80 acres free and clear of that easement.

[NOTE: Neither the woman nor the friend has acquired a prescriptive easement over the builder's 80 acres, as the 20-year statute of limitations has not run.]

Point One (introduction) (5%)

The woman acquired an implied easement from prior use over the man's land. This easement passed to the friend.

For the friend to have acquired an implied easement from prior use, it would have to be the case that the woman acquired the implied easement from the man. The woman would have to show that the following requirements had been met:

- a. Both parcels (the dominant tenement and the servient tenement) must have been owned by the same person at the time the prior use arose.
- b. The prior use that was said to create an implied easement over the gravel road across the eastern 80 acres of the property must have benefited the other portion of the land (the western 90 acres).
- c. The prior use must have been apparent.
- d. The prior use must have been continuous.
- e. The prior use must have been reasonably necessary for the use and enjoyment of the benefited property.

See generally Restatement (Third) of Property: Servitudes § 2.12.

Point One(a) (10%)

The 80 and 90 acres were held in common ownership by the man when he constructed the gravel road across his farmland of 170 acres. Thus, the common ownership test for the two separate parcels is met.

For an implied easement from prior use to arise, the two parcels must at one time have been in common ownership. Joseph W. Singer, Property 190 (3d ed. 2010). Thirty years ago, the man acquired the farmland as a 170-acre tract. Two years ago, he carved off the 90 acres in his conveyance to the woman, retaining 80 acres for himself. Thus, the common ownership test is met.

[NOTE: Of course, when the gravel road was built on the farmland it could not then be said that the man had an easement with respect to any portion of that road. This is because a property owner cannot have an easement over his own land. The possibility for anyone to have an implied easement over the gravel road therefore arises here only because a portion of the farmland was

conveyed away, in which case the man's use of the land can be called a "quasi easement" in retrospect.]

Point One(b) (10%)

Prior to the sale to the woman, the 90 acres derived a benefit from the portion of the gravel road running on the 80 acres.

For there to be an implied easement from prior use, the prior use of the man's 80 acres must be of a nature that it benefited the 90 acres conveyed to the woman. This requirement is easily met here. The focus is on the period of the prior use, not on the post-conveyance period, so the fact that the woman could later use the road to cross the man's land and reach the county road is not relevant. The question is whether, at the time the man owned the entire tract, he used the gravel road to benefit the westernmost 90 acres that he later sold to the woman. The answer is yes, because the man used the road to move tractors and cars out of the vehicle shed onto the gravel road and across the easternmost 80 acres that the man retained.

Point One(c) (15%)

The use of the gravel road across the entire 170 acres was apparent because the gravel road was clearly visible.

Given that the finding of an implied easement by prior use is intended to give effect to the parties' likely intent, "an important factor in determining . . . [that intent] is their knowledge of the existence of the prior use If the use was apparent, it may reasonably be inferred that the parties knew of it." Restatement (Third) of Property: Servitudes § 2.12, cmt. f. The apparent requirement is clearly met where the gravel road and its use were visible at the time of the conveyance. Courts routinely find that this requirement is easily satisfied, as here, with an established roadway. Stoebuck & Whitman, Property 446 (3d ed. 2001).

Point One(d) (15%)

The man's use of the gravel road over the 170 acres was continuous.

Historically, an implied easement from prior use had to be continuous. With respect to roads, this requirement could be a bar to a finding of an implied easement in cases where the use was merely intermittent. Today, however, courts tend to reject a stringent requirement of continuousness either by not requiring continuity at all or by finding that intermittent use is sufficient. Stoebuck & Whitman, *supra*, at 446–447. Some courts merely treat the continuity requirement as an element of visibility. *Id.* It has also been opined that if the quasi easement is "permanently adapted to serve the quasi-dominant estate, then it is continuous as required for an implied easement." See Herbert Hovenkamp, Sheldon F. Kurtz & Thomas P. Gallanis, *The Law of Property: An Introductory Survey* at 319 (2016). Here, the facts support the conclusion that the continuity requirement is met, whichever test is used. The man used the road to get to work and visit other communities distant from his land. While the Third Restatement does not expressly state that the use must be continuous, it adopts a similar requirement by stating that "the prior use was not merely temporary or casual." Restatement (Third) of Property § 2.12(1); see also Hovenkamp et al., *supra*, at 319, cmt. [2].

Point One(e) (20%)

The continuation of the use of the gravel road over the 80 acres was reasonably necessary to the enjoyment of the 90 acres.

Although some courts adhere to the notion that an implied easement from prior use can arise only if strictly necessary, today most courts require no more than reasonable necessity. Dale A. Whitman, Ann M. Burkhart, R. Wilson Freyermuth, and Troy A. Rule, *The Law of Property* 359 (4th ed. 2019); *accord*, Restatement (Third) of Property: Servitudes § 2.12, cmt. e. Today, “most courts [applying a reasonable necessity standard] will find the requirement satisfied if the owner of the dominant estate [the owner of the 90 acres] would be put to appreciable expense to provide a substitute for the claimed easement.” Whitman et al., *supra*, at 363. *See also* Restatement (Third) of Property: Servitudes § 2.12, cmt. g.

Here the “reasonably necessary” requirement is easily satisfied. The gravel road provides easy access to the county road abutting the 80 acres the man retained after conveying the 90 acres to the woman. There appears to be no other direct means to access that road. By reaching the county road, persons who travel to town from the property substantially shorten their travel time. To get there in this shorter time without the implied easement, they would have to acquire an easement by grant from the man or by prescription, both of which would require a significant expenditure of time or money.

Point Two (25%)

Regardless of whether the implied easement is subject to the recording act, the builder took the 80 acres subject to the implied easement because the builder was on inquiry notice of the prior use.

The builder took ownership of the 80 acres subject to the implied easement from prior use. The builder will argue that with respect to the 80 acres acquired from the man, the land records reflect no interest in either the woman or her friend, as neither of their deeds (regardless of when they were filed) were in the builder’s chain of title. Thus, the builder should take free and clear of the easement. There are two reasons, however, why this argument fails.

First, there is a strong argument that the recording act does not apply to implied easements. That argument is that the holder of an implied easement (like the holder of a prescriptive easement) has no document that can be recorded, and that to subject him to the recording act would effectively require that he bring a quiet title action (or the equivalent) to establish his interest in the land. The courts are divided on this question, however. *See* Bruce & Ely, *The Law of Easements and Licenses* ¶¶ 9-61–9-65 (1988).

In a jurisdiction that does not subject implied easements to the recording act, the builder took subject to the *existing* implied easement because the implied easement is an encumbrance on the property conveyed to the builder at the time of the conveyance notwithstanding the fact that it is unrecorded.

Alternatively, if implied easements are subject to the recording act, then while the analysis differs, the result is the same. The builder still took subject to the implied easement, even though no deed reflecting the easement in the woman or the friend was properly recorded in the

builder's chain of title, because the builder was on "inquiry" notice of the easement and thus is not a bona fide purchaser. Where, as here, the easement is clearly visible to any observer, a subsequent purchaser for value (here, the builder) is on inquiry notice of the easement and thus is not a bona fide purchaser protected by the recording acts. *See* Restatement (Third) of Property: Servitudes § 7.14(3), cmt. e, illustration 7 (stating that "[a] subsequent purchaser takes subject to unrecorded interests of which the purchaser has actual or inquiry notice. Inquiry notice is notice of interests in the property that would be revealed by a reasonable inspection of the premises or by making an inquiry suggested by facts known to the purchaser.")

FEBRUARY 2021 MEE ANALYSIS 6 – CONTRACTS

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

This question tests an examinee's knowledge of basic concepts of contract law regarding the formation of contracts, application of the statute of frauds, and enforceability.

Legal Problems:

- (1) Is there a contract between the supplier and the grocer for the sale of 100 shopping carts?
- (2)(a) Does the ability of the grocer to enforce the contract against the supplier depend on satisfying a statute of frauds?
- (2)(b) Does the document sent by the supplier to the grocer satisfy the applicable statute of frauds, enabling the grocer to enforce the contract for the sale of 100 shopping carts against the supplier?
- (2)(c) Does the grocer's handwritten note to the supplier, and the supplier's failure to object to it, satisfy the applicable statute of frauds, enabling the grocer to enforce the contract for the sale of 100 shopping carts against the supplier?

DISCUSSION

Summary

The grocer and the supplier entered into a contract pursuant to which the supplier agreed to sell 100 shopping carts to the grocer for a total price of \$12,500. Whether the contract is enforceable by the grocer requires further analysis.

Because it is a contract for the sale of goods, the contract is governed by Article 2 of the Uniform Commercial Code. Even though a contract exists, under Article 2's statute of frauds a contract for the sale of goods for a price of \$500 or more is not enforceable against a party unless there is a writing sufficient to indicate that a contract has been made that is signed by that party or an exception applies. Here, the contract price is more than \$500, so a writing signed by the supplier is required in order to enable the grocer to enforce the contract against him unless an exception applies.

The document sent by the supplier to the grocer is a writing sufficient to indicate that a contract has been made, but it is not clear whether that writing has been "signed" by the supplier. If the

document constitutes a writing signed by the supplier, it is sufficient to enable the contract to be enforced by the grocer against the supplier only for 60 shopping carts—the quantity mentioned in that writing—and not for the orally agreed 100 shopping carts.

The note sent by the grocer to the supplier is not sufficient to enable the grocer to enforce the contract for 100 shopping carts against the supplier because the note was not signed by the grocer.

Point One (20%)

The grocer and the supplier entered into an oral contract at the supplier’s showroom when they agreed that the supplier would sell, and the grocer would buy, 100 shopping carts for \$125 each.

Because the shopping carts are goods (see UCC § 2-105(1)), the situation presented by these facts is governed by Article 2 of the Uniform Commercial Code. UCC § 2-204(1) provides that “[a] contract for sale of goods may be made in any manner sufficient to show agreement, including conduct by both parties which recognizes the existence of such a contract.” The conversation between the grocer and the supplier clearly shows an agreement pursuant to which the supplier would sell, and the grocer would buy, 100 shopping carts at \$125 each. Thus, UCC § 2-204(1) is satisfied and there is a contract for the supplier to sell, and the grocer to buy, 100 shopping carts.

Point Two(a) (20%)

The oral contract between the supplier and the grocer is a contract for the sale of goods for a price of \$500 or more and therefore is subject to the statute of frauds in Article 2 of the Uniform Commercial Code.

UCC § 2-201(1) provides that “[e]xcept as otherwise provided in this section a contract for the sale of goods for the price of \$500 or more is not enforceable by way of action or defense unless there is some writing sufficient to indicate that a contract for sale has been made between the parties and signed by *the party against whom enforcement is sought . . .*” (emphasis added). Here, the contract between the supplier and the grocer is for the sale of goods (the shopping carts) for a total price of \$12,500. Therefore, it is subject to the writing requirement of UCC § 2-201(1) unless an exception applies.

Here, the grocer is seeking to enforce the contract against the supplier. As a result, unless an exception applies, the grocer will not be able to enforce the contract unless there is a writing sufficient to indicate that a contract has been made that is signed by the supplier.

Point Two(b) (40%)

The document sent by the supplier to the grocer is sufficient to indicate that a contract has been made, but it is not clear that it has been “signed” by the supplier—the party against whom enforcement is sought. If it has been signed, the writing will be sufficient to enable the grocer to enforce the contract against the supplier, but only up to the quantity of goods stated in the document—60 shopping carts.

As discussed in Point Two(a), UCC § 2-201(1) states that, for a contract within its scope to be enforceable, there must be a writing sufficient to indicate that a contract for sale has been made that is signed by the party against whom enforcement is sought. The facts indicate that the document sent by the supplier to the grocer stated: “Thanks so much for your business. The 60 shopping carts you ordered from us are on the way. Be on the lookout for our delivery truck—it may even arrive today! Please send us payment of \$7,500 (60 carts x \$125/cart) as soon as you receive the carts.” This document is a writing. *See* UCC § 1-201(b)(43). Further, its contents clearly indicate that a contract for sale has been made; it refers to the “shopping carts you ordered from us,” indicates that they “are on the way,” and thanks the grocer “for [her] business.”

In order for the document to be sufficient to make the contract enforceable against the supplier under UCC § 2-201(1), however, the document must be “signed” by the supplier. The facts do not state that the document bore a signature (in the conventional sense of that term) of the supplier, but they do state that the document was printed on the supplier’s letterhead. As the term “signed” is used in § 2-201(1), its meaning is broader than simply bearing a conventional signature. “‘Signed’ includes using any symbol executed or adopted with present intention to adopt or accept a writing.” UCC § 1-201(b)(37). Comment 37 to UCC § 1-201 states that “in appropriate cases [the symbol] may be found in a billhead or letterhead.” Accordingly, some cases have held that a document on company letterhead can constitute a signed writing as long as the requisite intent is present. *See, e.g., Automotive Spares Corp. v. Archer Bearings Co.*, 382 F. Supp. 513 (N.D. Ill. 1974). Thus it is possible, but not certain, that the requirement of a signed writing is satisfied by the document, depending on whether the supplier used the letterhead “with a present intention to adopt or accept” the document.

Although the writing referred to in UCC § 2-201(1) need not contain detailed information about the contract, “the contract is not enforceable . . . beyond the quantity of goods shown in such writing.” Here, the document showed a quantity of only 60 shopping carts. Accordingly, even if the document qualifies as a writing signed by the supplier, the document is not sufficient to make the contract enforceable against the supplier beyond 60 shopping carts. Thus, this writing alone does not provide a basis for the grocer to enforce a contract requiring the supplier to sell 100 shopping carts to the grocer.

Point Two(c) (20%)

The note sent by the grocer on March 2 is a writing in confirmation of the contract for the sale of 100 shopping carts. If the writing were sufficient to enable the supplier to enforce the contract for 100 shopping carts against the grocer, it would also have the result of enabling the grocer to enforce the contract for 100 shopping carts against the supplier because the supplier failed to object to the note within 10 days after receiving it. However, because the note was unsigned, it would not enable the supplier to enforce the contract against the grocer, and therefore it would not have the result of enabling the grocer to enforce the contract against the supplier.

One of the exceptions to the rule in UCC § 2-201(1) discussed above is found in UCC § 2-201(2). Under that provision, which applies only “between merchants,” “if within a reasonable time a writing in confirmation of the contract and sufficient against the sender is received and the party receiving it has reason to know its contents, it satisfies the requirements of subsection (1)

against such party unless written notice of objection to its contents is given within 10 days after it is received.”

Here, both the supplier and the grocer are “merchants” as that term is defined in UCC § 2-104(1). The supplier deals in goods of the kind at issue, and the grocer’s occupation is such that she would have “knowledge or skills peculiar to the . . . goods involved in the transaction” (shopping carts used in supermarkets). Because both the supplier and the grocer are merchants, the transaction is “between merchants.” UCC § 2-104(3).

Accordingly, if the note sent by the grocer to the supplier would be sufficient to enable the supplier to enforce the contract for 100 shopping carts against the grocer, then it would also make the contract enforceable against the supplier because the supplier did not give written objection to the note within 10 days of receiving it. However, here the note would not be sufficient to enable the supplier to enforce the contract against the grocer because the note was not signed by the grocer. While the note was handwritten, it was not “signed” by the grocer as that term is defined in UCC § 1-201(b)(37). It did not contain any “symbol executed or adopted with present intention to authenticate” the writing. It might be argued that the grocer’s decision to handwrite the note indicates an intent to authenticate by using handwriting alone, but the UCC definition of “signed” seems clearly to contemplate some authenticating symbol in addition to the content of the writing itself. Therefore, the unsigned note sent by the grocer does not enable the grocer to enforce the contract for 100 shopping carts against the supplier even though the supplier did not object to the contents of the note.

[NOTE: There are other exceptions to the UCC § 2-201 statute of frauds that are not at issue on these facts, but that might be discussed by some examinees. One of those exceptions applies if the goods are specially manufactured for the buyer and are not suitable for sale to others. *See* UCC § 2-201(3)(a). Here, there is no indication that the shopping carts were specially manufactured. Another exception applies if the party against whom enforcement is sought admits in pleading, testimony, or otherwise in court that a contract was made. *See* UCC § 2-201(3)(b). Here, there is no indication of such admission by the supplier. Finally, there is an exception that applies with respect to goods for which payment has been made or accepted or that have been received and accepted, but here no payment has been made and no shopping carts were accepted.

Some examinees may also note that the Uniform Electronic Transactions Act (UETA) and/or the federal Electronic Signatures in Global and National Commerce Act (E-SIGN) allow the writing requirement of UCC § 2-201 to be satisfied by an electronic communication. This is true, but it does not change the answer or the analysis, as there is no electronic communication that would satisfy the requirements of UCC § 2-201.]

July 2021
MEE Questions
and Analyses

July 2021 MEE Questions

Torts

Corporations & LLCs/Conflict of Laws

Family Law

Criminal Law & Procedure

Decedents' Estates

Civil Procedure

JULY 2021 MEE
QUESTION 1 – TORTS

A mother was shopping with her six-year-old son at Big Box store. The son was visually impaired, so his mother, concerned about crowding and jostling by other patrons, restrained him by placing her hand on his shoulder and instructed him to remain in her grasp. Despite his mother's efforts, the son broke free of her grasp and ran toward a nearby candy display. Because he was running and visually impaired, the son did not notice some cheesecake on the floor in the store's self-serve dining area; the cheesecake was flattened and dirty. The son slipped on the cheesecake and fell to the floor, suffering physical injury. Another customer unsuccessfully attempted to help the son to stand, worsening the son's injury by negligently twisting his arm.

Big Box had in place a policy instructing employees to take steps to promptly clean known hazards on the floor, but it did not assign an employee to monitor floor conditions. Big Box employees do not know when any employee had most recently inspected the floor or when the floor had last been cleaned. The self-serve dining area includes displays that contain takeout food, including cheesecake. These displays had last been stocked several days before the son slipped on the cheesecake. On the day the son slipped and fell, a store employee had walked by the self-serve dining area before the son slipped but had not noticed the cheesecake on the floor.

The mother has filed a negligence claim on her son's behalf against Big Box and the customer who attempted to help the son. Both Big Box and the customer claim that the son was negligent.

1. Under the applicable standard of care, are the facts sufficient for a jury to find that the son acted negligently? Explain.
2. Under the applicable standard of care, are the facts sufficient for a jury to find that Big Box acted negligently? Explain.
3. Can the customer be held liable for enhancing the son's injury? Explain.
4. Assuming that only Big Box and the customer were negligent and can be held liable, can the son recover the full amount of damages from Big Box only? Explain.

Do not address the effect of any "Good Samaritan" statute.

JULY 2021 MEE

QUESTION 2 – CORPORATIONS & LLCs / CONFLICT OF LAWS

Carlos, Diana, and Ethan own all the shares of Winery Inc., which is incorporated in State A. They are equal shareholders of the corporation and the only members of its board of directors. They share responsibilities in the corporation's vineyard and winery. They have no shareholders' agreement.

Recently, Carlos and Diana decided that it would be a good idea to change the corporation's business model. In addition to producing wines from the corporation's own small vineyard using sustainable, organic farming methods, they believe that the business should expand to buy grapes from local vineyards that produce grapes using such methods. They believe this new focus will allow them to attract new customers interested in organic wines. They also see this change and expansion to their business as a way to promote environmentally sustainable organic grape cultivation in their region.

To make this shift in the corporation's business, Carlos and Diana have decided that the corporation should become a "benefit corporation." A benefit corporation, authorized by many states, is a type of for-profit corporation that defines in its articles of incorporation a social or environmental purpose. Benefit-corporation law insulates directors from liability for making business decisions that serve this defined social or environmental purpose, even when their decisions may negatively impact shareholder profits.

State A has adopted the Model Business Corporation Act, which does not explicitly provide for benefit corporations. State A courts have held that domestic corporations must seek to maximize shareholder profits.

State B, which is adjacent to State A, also has adopted the Model Business Corporation Act but has modified its corporate statute to provide for the formation of benefit corporations. To form a benefit corporation, the articles of incorporation must indicate that the corporation has opted to be a benefit corporation and must state a social or environmental purpose for the corporation. The State B statute insulates directors from liability for claims that they did not seek to maximize shareholder profits if their decisions are consistent with the corporation's stated social or environmental purpose.

Carlos and Diana have decided that they can best carry out the new business plan by creating a benefit corporation in State B to operate in State A with the stated social and environmental purpose of "promoting sustainable and organic vineyard, winery, and production practices." They will incorporate the new benefit corporation as Organic Wines Corp. and be its only initial shareholders. Once this corporation is created, they will cause Winery Inc. to merge into it with all the Winery Inc. shares converted into shares of Organic Wines Corp.

Ethan is opposed to the plan, but Carlos and Diana support it.

1. Can Ethan block the merger of Winery Inc. into Organic Wines Corp. by voting against it? Explain.

2. If Winery Inc. merges into Organic Wines Corp., does Ethan have a right to demand that he receive payment in cash (instead of receiving shares in Organic Wines Corp.) equal to the fair value of his shares in Winery Inc.? Explain.
3. Assume that Ethan becomes a shareholder of Organic Wines Corp. Could Ethan successfully sue the Organic Wines Corp. directors in State A for promoting sustainable and organic practices at the expense of maximizing shareholder profits? Explain. Do not discuss whether that suit would have to be direct or derivative.

JULY 2021 MEE
QUESTION 3 – FAMILY LAW

Fifteen years ago, a woman moved to State A for a temporary job. Shortly after moving to State A, the woman met and briefly dated a man who lived in State A.

Eight months after her relationship with the man ended, the woman, still living in State A, gave birth to a daughter. She then moved to State B with her daughter. The woman was certain that the man was the daughter's father because he was the only person she had had sexual intercourse with while she was living in State A, but she did not contact him to tell him of her pregnancy or the daughter's birth. The woman had no other children. She and the daughter lived together as a two-person household exclusively in State B. The woman told her family and her daughter that the daughter's father had been killed in a car accident.

Two months ago, the daughter, age 14, overheard a conversation between the woman and her oldest friend. The friend said, "Your daughter's father is now an important scientist. His most recent research is in today's newspaper. Don't you think your daughter should meet him?"

The daughter, shocked, found the newspaper and emailed the scientist whose research was described in the paper. In the email, she identified her mother, recounted the conversation she had overheard, and suggested DNA testing. The man agreed to cooperate, and the test confirmed that he was the daughter's biological father. The daughter told the man that she wanted to live with him at his home in State A. The man, wanting to get to know his daughter better, agreed and sent her a bus ticket, which she used without her mother's permission.

Three weeks after the daughter's arrival in State A, the man sued in a State A court to establish his paternity, to gain sole custody of the daughter, and to obtain child support from the woman. The man had the woman served personally in State B.

Under State A's long-arm statute, the State may exercise personal jurisdiction over a nonresident for purposes of determining paternity, child custody, and child support if "the individual engaged in sexual intercourse in this State and the child may have been conceived by that act of intercourse." State A's paternity statute permits the "mother or alleged father to establish paternity at any time during the mother's pregnancy or within 21 years after the child's birth."

The woman moved to dismiss the man's suit, arguing that State A's exercise of personal jurisdiction over her would violate her rights under the due process clause of the Fourteenth Amendment. The trial court denied her motion, and the woman made a special appearance, preserving her right to appeal on the jurisdictional issue. At a hearing on the merits, the woman argued, based on a series of United States Supreme Court opinions, that a putative father may not establish his paternity years after his child's birth unless he registered with a putative father registry or actively participated in his child's care. She also argued that the court lacked authority to issue either a child custody or a child support order.

1. Did the State A court's exercise of personal jurisdiction over the woman violate her rights under the due process clause of the Fourteenth Amendment? Explain.

2. Assuming that the State A court properly exercised personal jurisdiction over the woman, and that the man's paternity is undisputed, does the court have subject-matter jurisdiction to
 - (a) award the man sole custody of the daughter? Explain.
 - (b) require the woman to pay the man child support? Explain.

JULY 2021 MEE

QUESTION 4 – CRIMINAL LAW & PROCEDURE

A police officer patrolling in his squad car after dark saw a woman lying on the sidewalk near an intersection. A teenage girl standing near her yelled, “Help! That guy just knocked this woman down and took her purse!” The girl pointed toward a man carrying a white purse and sprinting away from the scene.

The officer jumped out of his squad car and shouted, “Stop! Police!” He ran after the man down an alley and between houses. The man leapt a series of backyard fences and ran onto a back porch. The officer, following behind, jumped over a low fence, heard the man fumbling with keys, and saw him unlock the back door of a house. The man rushed inside and slammed the door. The officer tried to open the door, but it was locked. From inside the house, the man yelled, “Get off my porch!” The officer kicked the door open. The man was standing just inside the door, out of breath, and a white purse was on the floor near his feet.

The officer handcuffed the man, grabbed the purse, and walked the man back to the intersection where the woman was sitting on a nearby bench. The teenage girl was gone.

The woman immediately said, “That’s my purse.” Then she asked the officer, “Is that the guy who took it? I never saw anything. Someone pushed me hard from behind, knocked me down, grabbed my purse, and took off. I was dazed and just lay there until some girl helped me up.”

The officer told the man that he was under arrest and placed him in the backseat of the squad car.

Another officer arrived, and a few minutes later the teenage girl returned. The girl began speaking with the second officer, saying, “I was right there. It happened really fast. One second I was waiting for my bus and reading text messages. The next second I heard a woman scream and saw some big guy running past me with a purse.”

The girl then noticed the man handcuffed in the backseat of the squad car. She shouted, “Oh my gosh! Hey, I think that’s the guy! It was dark, and it happened fast, but, wow. He’s right there in the car. I’m pretty sure that’s the guy.”

The state charged the man with one count of robbery under a state statute that defines the crime as it was defined under the common law.

Relying only on his rights under the United States Constitution, the man has moved the trial court to suppress evidence of the purse and the officer’s testimony about where the officer recovered it. The man argues specifically that the officer’s entry into his home without a warrant violated his constitutional rights. The man has also moved the court to prohibit any witness from discussing the girl’s on-the-scene identification of him and to prohibit her from identifying him in court during trial. He argues specifically that allowing evidence of the teenage girl’s identification would violate his constitutional rights.

1. Did the officer’s warrantless seizure of the man and warrantless seizure of the purse in the man’s home violate the man’s Fourth Amendment rights? Explain.

2. Would the trial court violate the man's constitutional due process rights by admitting testimony that reveals the girl's on-the-scene identification of the man or by allowing her to identify him in court? Explain.

Do not discuss any confrontation clause issues.

JULY 2021 MEE

QUESTION 5 – DECEDENTS' ESTATES

Eight years ago, a testator validly executed a will. The will, in pertinent part, provided:

1. I give my house to my friend Doris.
2. I give my residuary estate, in equal shares, to my friend Alice, if she survives me, and to my friend Bill, if he survives me.
3. If any beneficiary under either of the foregoing two provisions of this will predeceases me and my will does not expressly provide otherwise, the heirs of the deceased beneficiary shall take the beneficiary's bequest.

Three years ago, Bill and Doris died.

Doris died testate, bequeathing her entire estate to a charity. If Doris had died intestate, all of her probate assets would have passed to her nephew, her sole heir.

Bill died intestate, and his entire probate estate passed to his daughter, his sole heir.

Last week, the testator died a domiciliary of State A, leaving a probate estate consisting of her house and a bank account with a balance of \$250,000. The testator died with no debts.

State A's anti-lapse statute provides in its entirety:

Unless the decedent's will provides otherwise, if a bequest is made to a beneficiary who predeceases the decedent leaving issue surviving the decedent, the deceased beneficiary's share passes to the issue of the deceased beneficiary.

The testator is survived by Doris's nephew, Bill's daughter, and Alice. The only relative of the testator who survived the testator is her sister. The charity to which Doris bequeathed her estate still exists.

1. Does the state anti-lapse statute or Clause 3 of the testator's will determine who takes the share of a beneficiary who predeceased the testator? Explain.
2. Assuming that Clause 3 of the testator's will applies, who is entitled to the testator's house? Explain.
3. Does the residuary bequest to Bill lapse because of the express survivorship requirement in Clause 2 of the testator's will? Explain.
4. Who is entitled to Bill's one-half share if the bequest to Bill lapses? Explain.
5. Who is entitled to Bill's one-half share if the bequest to Bill does not lapse? Explain.

JULY 2021 MEE
QUESTION 6 – CIVIL PROCEDURE

A 55-year-old woman had been employed for 30 years as a paralegal at a law firm in State A. One year ago, a 28-year-old male attorney became the firm’s paralegal manager.

The attorney began criticizing the woman’s work and berating her on nearly a daily basis. He made derogatory comments about her and her work to the other paralegals and attorneys in the firm. He nicknamed her “grandma” and told people that “it’s time for a new generation to take its place here.”

Three months after he took over as paralegal manager, the attorney fired the woman. To replace her, he hired a 22-year-old paralegal. He explained the firing to his coworkers by stating that the woman had stolen valuable supplies from the firm and was neither honest nor trustworthy.

After exhausting all prerequisite administrative remedies, the woman filed an action in the US District Court for the District of State A. Her lawsuit was against the attorney who had fired her. The woman’s complaint states two causes of action. First, the complaint asserts that the attorney fired her because of her age, in violation of the federal Age Discrimination in Employment Act of 1967 (ADEA) (under which the attorney is considered an “employer”). Second, the complaint alleges that the attorney made defamatory comments about the woman to other employees of the law firm, thereby committing a tort under State A law. In particular, the woman’s complaint alleges that the attorney made comments to others “to the effect that [the woman] was dishonest and a thief,” and that “such comments were false and defamatory.” The woman’s allegations include the approximate dates of the comments and the identity of persons to whom they were made, but the complaint does not recite the exact allegedly defamatory language used by the attorney.

The attorney and the woman are both citizens and domiciliaries of State A, where the law firm’s offices are located and where all the events in this matter took place. State A pleading rules require a plaintiff’s defamation claim to “allege the time and place where the allegedly false statement was made, the persons to whom it was made, and the particular words constituting defamation.” State A courts apply these rules strictly and dismiss complaints seeking damages for defamation if the specific words that are alleged to be defamatory are not stated in the complaint.

The attorney concedes that the court has federal-question jurisdiction over the woman’s ADEA claim but has moved to dismiss her defamation claim. The motion to dismiss argues (i) that the federal court lacks jurisdiction over the defamation claim because it is based entirely on state law, and (ii) that the woman did not allege the “particular words constituting defamation” as required by State A.

1. Should the federal court grant the attorney’s motion to dismiss the woman’s defamation claim on the ground that the federal court lacks jurisdiction over that claim because it is based entirely on state law? Explain.
2. Should the federal court grant the attorney’s motion to dismiss the woman’s defamation claim on the ground that the woman did not allege the “particular words constituting defamation” as required by State A? Explain.

July 2021 MEE Analyses

Torts

Corporations & LLCs/Conflict of Laws

Family Law

Criminal Law & Procedure

Decedents' Estates

Civil Procedure

JULY 2021 MEE
ANALYSIS 1 – TORTS

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

This question requires the examinee to demonstrate knowledge of basic negligence concepts, including the applicable standard of care for assessing a child's actions, the duties owed by businesses to invitees with regard to hazards on the premises, and the liability of a party who undertakes to assist an injured party. Finally, the question tests an examinee's knowledge of the recovery of damages when an initial injury is enhanced by another actor's attempt to offer assistance.

Legal Problems:

- (1)(a) What is the standard of care for the son?
- (1)(b) Under that standard, are the facts sufficient for a jury to find that the son acted negligently?
- (2) Under the applicable standard of care, are the facts sufficient for a jury to find that Big Box acted negligently?
- (3) Can the customer be held liable for enhancing the son's injury?
- (4) Assuming that only Big Box and the customer were negligent and can be held liable, can the son recover the full amount of damages from Big Box only?

DISCUSSION

Summary

Most jurisdictions assess a child's conduct in comparison to that of a reasonably careful child of the same age, intelligence, and experience. If the child has a disability, that disability is taken into account in determining the standard of care. Thus, the son's conduct will be measured against that of a six-year-old with comparable attributes, including his visual impairment. Under that standard, a jury could find that the son acted negligently. In some jurisdictions, however, because the son is under seven, he may be presumed incapable of being negligent; thus the son could not be found to have acted negligently in those jurisdictions.

While Big Box was not actually aware of the cheesecake on the floor when the son slipped and fell, a store has a duty to discover and remove hazards from its floor within a reasonable time. The condition of the cheesecake on the floor (i.e., flattened and dirty), the deficient floor-

inspection practices, and the fact that an employee walked by the self-serve area before the son fell support an inference that the store had adequate time to find the cheesecake and remove it from the floor. Thus, a jury could properly find that Big Box acted negligently.

Ordinarily, in the absence of a special relationship, an individual has no duty to aid another person in need. However, when an individual undertakes to provide assistance to another, that individual is subject to a duty of reasonable care. Thus, a jury could properly find the customer liable for negligent enhancement of the son's injury when he attempted to help the son up from the floor.

If the customer and Big Box are found negligent and liable to the son, both of them are liable for any enhancement of the son's injury caused by the customer's negligently twisting the son's arm. Both Big Box and the customer are proximate causes of the son's enhancement injury. In a joint liability jurisdiction, Big Box and the customer would be jointly and severally liable for enhancement damages; each would be liable for the full value of the enhancement damages award. Thus the son can recover from Big Box all initial injury damages and enhancement damages.

Point One(a) (10%)

The son, age six, will be held to a six-year-old child's standard of care, taking into account the son's visual impairment. However, in some jurisdictions, because the son is under the age of seven, he is deemed legally incapable of being negligent.

Unless a child is engaged in an adult activity, a child's conduct is not measured against that of the reasonably prudent person. Instead, most jurisdictions measure a child's conduct against that of a child of like age, intelligence, and experience. Restatement (Third) of Torts: Liability for Physical and Emotional Harm § 10(a); Restatement (Second) of Torts § 283A. For physically disabled children, conduct must conform to that of a reasonably careful child with the same physical disability. Restatement (Third) of Torts § 11(a).

However, a substantial minority of jurisdictions use a different standard of care for young children, often known as the "rule of seven." See Restatement (Third) of Torts § 10 comment b. In the Restatement, a child's conduct is assessed based on the child's age, intelligence, and experience. Under the rule of seven, a child's conduct is assessed based on the child's age, and children of certain young ages are deemed incapable of negligence, the exact age varying among the jurisdictions. The Third Restatement provides that only a child younger than five years of age is incapable of negligence. *Id.* § 10(b).

Point One(b) (15%)

Under the Restatement's standard of care for children, a jury could find that the son acted negligently. Under the rule of seven, adopted in some states, however, the son would be deemed legally incapable of negligence.

Based on these facts, a jury could find that the son acted negligently. The Third Restatement, in § 10 comment c, indicates that when a child has received instructions from a parent about necessary precautions (such as not running into the street), the child can "easily" be found

negligent for failing to follow instructions. Although six-year-old children can be quite physically active, in this case the mother physically restrained the son and told him to remain under her control. Further, because his visual impairment will be considered in determining whether the son behaved unreasonably, it could be inferred that in a crowded environment, a reasonably careful child with the son's visual impairment would obey a parent and exercise substantial caution.

If the rule-of-seven standard used in a minority of jurisdictions (see Point One(a)) is applied in the jurisdiction, the court would rule as a matter of law that the son, age six, was not negligent.

[NOTE: Based on these facts, a jury could also find that the son did not act negligently. The son is only six and is still developing self-control and judgment. Despite the mother's admonition and the son's visual impairment, the nearby candy display may have been very enticing, causing him to run toward it without considering the risks. A jury may find that the son's lack of control and bad judgment are reasonable for a six-year-old and conclude that the son was not negligent. However, the call asks only whether there is sufficient evidence for a jury to find the son negligent, and under the Third Restatement standard of care, there is.

An examinee might also address causation. Cause in fact exists because but for the son's negligence, the accident would not have occurred. He also was a substantial factor in causing his injury. See Restatement (Third) of Torts § 26 comment j (discussion of substantial factor as an alternative to the traditional "but for" principle). Proximate cause may require proof that the son appreciated the risk or that the slip and fall was a natural and continuous sequence. *Palsgraf v. Long Island R.R. Co.*, 248 N.Y. 339, 351–55 (1928) (Andrews, J., dissenting). The facts do not allow for a detailed analysis of proximate cause, but it appears that the slip and fall was a natural and continuous outcome of the son's behavior.]

Point Two (30%)

As a proprietor of a commercial facility, Big Box owes a duty of care to its customers, who are considered invitees. Therefore, a jury could find that Big Box acted negligently in failing to discover the cheesecake and remove it from the floor.

The proprietor of a commercial facility owes a duty of due care to customers, who are considered business invitees. Restatement (Second) of Torts § 332. The proprietor is required to exercise reasonable care to protect customers from hazards, including being aware of dangerous conditions on the premises and reducing or eliminating any dangers. *Id.* § 343. Thus Big Box was required to take reasonable steps to ensure that its floor was free from hazards, such as the cheesecake, that could cause an accident.

This case is similar to the classic "banana peel" cases involving a business's liability for debris on the floor that injures patrons. See *Goddard v. Boston & Maine R.R. Co.*, 60 N.E. 486 (Mass. 1901); *Anjou v. Boston Elevated Ry. Co.*, 94 N.E. 386 (Mass. 1911). These cases are often referred to as examples of constructive notice; the law presumes notice of dangerous conditions even though actual notice is absent. However, a defendant is allowed a reasonable time period to discover a dangerous condition and correct it. Constructive notice cases thus turn on a determination of how long the dangerous condition existed before the plaintiff encountered it.

When food is the cause of the fall, the condition of the food sometimes allows an inference of how long it was on the floor. See *Goddard and Anjou*. Because the burden of proof is on the plaintiff, if the evidence does not allow for a determination of how long the dangerous condition existed, the proprietor cannot be found negligent. *Joye v. Great Atlantic and Pacific Tea Co.*, 405 F.2d 464 (4th Cir. 1968).

Here there is no indication that Big Box had actual notice of the cheesecake on the floor. The facts do not state how the cheesecake came to be on the floor. The most likely possibility, given the crowding in the store and the option to self-serve food, is that a customer was responsible for dropping the cheesecake on the floor. It is unlikely that a Big Box employee dropped the cheesecake, did not notice it on the floor, and did not clean it up, as the display was last stocked several days earlier. Nonetheless, Big Box was responsible for discovering the cheesecake and removing it from the floor within a reasonable period. Where food is sold through self-service, a store must take greater precautions and make more frequent inspections than otherwise might be necessary. *Bridgman v. Safeway Stores, Inc.*, 348 P.2d 696, 698 (Cal. 1960). The flattened and dirty condition of the cheesecake suggests that it was on the floor more than a few minutes. Again, the self-serve display was last stocked several days before the son's fall, and it is unlikely that a Big Box employee dropped the cheesecake and did not clean it up. As well, it is likely that a Big Box employee did not notice the cheesecake because of the crowd in the store.

However, when an employee is in the area of a spill, some courts consider the employee's presence as some evidence that the spill could have been discovered, though such evidence may be given little weight. See, e.g., *Domanque v. Wal-Mart Stores, Inc.*, 665 So. 2d 779 (La. Ct. App. 1995). Other courts give this evidence no weight. See, e.g., *Wal-Mart Stores, Inc. v. Reece*, 81 S.W.3d 812 (Tex. 2002). Here, a Big Box employee walked by the self-serve display before the son's fall, and a jury could reasonably find that the employee could have seen the cheesecake on the floor before the son slipped. However, because Big Box assigned no employees to conduct inspections, and there is no proof of a flooring inspection in any particular period of time, an inference that the condition did exist long enough to be discovered is reasonable. See *Frazier v. Yor-Way Market, Inc.*, 185 Cal. App. 2d. 390 (1960).

In its defense, Big Box will likely assert that the cheesecake was an open and obvious condition of the premises and thus not subject to Big Box's duty of due care. RESTATEMENT (THIRD) OF TORTS § 51. However, when the defendant is a commercial enterprise, courts often find that it is foreseeable that a distracted shopper might fail to notice such a condition, though it is open and obvious, and suffer injury as a result. See Dobbs, Hayden and Bublik, *Hornbook on Torts* 472 (2d ed. 2016).

On balance, the self-service option for customers, the condition of the cheesecake on the floor, the lack of floor inspections, and perhaps the presence of the employee in the area where the son fell would support a reasonable inference that Big Box acted negligently.

[NOTE: Little credit should be given for discussion of causation, as it is readily established. Although the son likely was a cause of his injury, Big Box's negligence also was a substantial cause and/or "but for" cause. The son would not have slipped had the cheesecake been removed, clearly proving cause in fact. Further, if a hazardous condition in the store exists, it is readily foreseeable that customers may be injured; thus, Big Box is a proximate cause of the son's initial

injury and its enhancement by the customer. See Point Four (discussion of Big Box’s liability for the customer’s rescue effort).]

Point Three (20%)

A person who offers assistance to help another assumes a duty of care when providing that assistance. Therefore, the customer could be held liable for damages for his negligent enhancement of the son’s injury.

Generally, an actor whose conduct has not created a risk of harm to another owes no duty of care to the other. Restatement (Third) of Torts § 37. Thus, the customer here had no duty to assist the son after the initial fall.

However, when the customer undertook to assist the son, the customer was required to exercise due care when providing assistance. In rescue conduct, the rescuer is liable if the rescuer negligently worsens the victim’s condition. See, e.g., D. Weisman, *Negligence, Responsibility, and the Clumsy Samaritan: Is There a Fairness Rationale for the Good Samaritan Immunity?*, 29 GA. ST. U. L. REV. 609 (2013); DOBBS ET AL., *supra*, 624 n.77. Because the facts state that the customer negligently twisted the son’s arm when trying to help him stand, it could be reasonably inferred that the customer acted without due care and foreseeably caused injury to the son. Thus, the customer could be held liable for damages for the enhancement of the son’s injury.

[NOTE: The question instructs examinees not to discuss the potential effect of any “Good Samaritan” statute. Accordingly, no credit should be given for such a discussion.]

Point Four (25%)

Assuming that only Big Box and the customer were negligent and can be held liable, the son can recover the full amount of damages from Big Box only.

Assuming that Big Box negligently caused the son’s initial injury, the court will consider whether Big Box is also liable for the enhanced injury caused by the customer’s attempt to aid the son. The generally accepted rule is that a tortfeasor who negligently causes the initial injury is liable for any enhanced harm from efforts of others to aid the injured person. Restatement (Third) of Torts: Phys. & Emot. Harm § 35. Comment c in § 35 explains that negligence of one rendering aid is not a superseding cause of any enhanced harm, thereby including such harm within the initial tortfeasor’s scope of liability. The risks and injury caused by the rescuer, however, must be a normal part of a rescue attempt; otherwise the initial tortfeasor is not a proximate cause of the enhanced harm. *Id.*; see also Restatement (Second) of Torts § 457. The initial tortfeasor may be responsible for both negligent and non-negligent rescue efforts. While the courts initially developed this principle of causation for medical malpractice claims, many jurisdictions have applied it beyond medical negligence to other conduct.

Assuming that Big Box negligently caused the son’s slip and fall resulting in injury, Big Box is fully responsible for the son’s initial injury damages (assuming that the son is not negligent). The customer’s attempt to help the son stand was a foreseeable effort to aid; thus, Big Box is also liable for enhanced injury caused by the customer whether the rescue effort was or was not negligent. Because both Big Box and the customer are liable for the enhanced injury, they are

jointly and severally liable because they have jointly caused an indivisible harm. *See* Restatement (Third) of Torts § 27; Restatement (Second) of Torts § 433A. As joint tortfeasors, both parties are individually liable for the full amount of enhancement damages. Thus, the son can recover from Big Box the full amount of his damages for both the initial fall and the customer's enhancement.

[NOTE: Examinees are told in the MEE Subject Matter Outline to assume that joint and several liability is the relevant rule unless otherwise indicated. In a several-liability jurisdiction, Big Box, although the proximate cause of the enhanced injury, would be liable severally for its comparative share of enhanced injury damages. Restatement (Third) of Torts § 35 comment d, illustration 4.]

JULY 2021 MEE

ANALYSIS 2 –CORPORATIONS & LLCs / CONFLICT OF LAWS

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

This question is intended to test examinees' knowledge of some basic principles of corporate law—namely, the rules for merging corporations. Specifically, it tests knowledge of the votes required for approval of a merger, the rights of a dissenting shareholder, and application of the internal affairs doctrine with respect to which state's law governs the surviving corporation.

Legal Problems:

- (1) What votes are required for the board of directors and shareholders of Winery Inc. to approve the merger of Winery Inc. into Organic Wines Corp.?
- (2) If Winery Inc. merges into Organic Wines Corp., does Ethan have a right to demand that he receive payment in cash from Organic Wines Corp. equal to the fair value of his shares in Winery Inc.?
- (3) If Organic Wines Corp. operates as a benefit corporation with a social and environmental purpose to produce organic wines in State A, could a shareholder of Organic Wines Corp. successfully sue the Organic Wines Corp. directors in State A for promoting this purpose at the expense of maximizing shareholder profits?

DISCUSSION

Summary

In a merger of two corporations incorporated in different states, each corporation is generally subject to the merger requirements of the state in which it is incorporated. Thus, the merger voting rules of State A (which has adopted the Model Business Corporation Act, "MBCA") would apply to the approval by Winery Inc. of its merger into Organic Wines Corp. Because the MBCA, as adopted in State A, specifies that approval of a merger requires adoption by a majority of the board of directors and approval by a majority of the outstanding shares, the votes of Carlos and Diana for the merger would be sufficient to approve the merger. Ethan cannot block the merger.

Following the merger, Ethan has a right to dissent from the merger and seek appraisal of his Winery Inc. shares. Given that the merger was subject to a shareholder vote, Ethan was entitled to vote, and Winery Inc. is a closely held corporation, he can demand that he receive from Organic Wines Corp. a cash payment equal to the fair value of his shares in Winery Inc.

Under the internal affairs doctrine, which is recognized by the MBCA, the duties of directors to their corporation and its shareholders are determined by the state of incorporation, not by the state where the suit is brought or where the corporation operates or is headquartered. Thus, the corporate law of State B, which permits directors of benefit corporations to pursue the corporation's social/environmental purposes, applies to Ethan's lawsuit. Even though the corporate law of State A may call on corporate directors to maximize shareholder profits, Ethan could not successfully sue the directors of the corporation for promoting the corporation's stated social/environmental purpose at the expense of shareholder profits.

Point One (30%)

The merger voting rules of State A, where Winery Inc. is incorporated, apply to the approval of the merger of Winery Inc. into Organic Wines Corp. Because State A corporate law follows the MBCA, only a majority vote of the directors and shareholders is needed to approve the merger. Thus, the votes of Carlos and Diana approving the merger will be sufficient. Ethan cannot block the merger.

A corporate merger is a business combination in which two corporations are combined into one surviving corporation, with the effect that any corporation merged into the survivor ceases, the shares of that corporation are converted into shares of the surviving corporation, and the articles of incorporation of the surviving corporation become effective for the resulting entity. MBCA §§ 11.01, 11.07. Under the MBCA, a domestic business corporation (incorporated in the jurisdiction) may merge with a foreign business corporation (incorporated in another jurisdiction) pursuant to a plan of merger. MBCA § 11.02(a). The foreign corporation may be a party to the merger only if the merger is permitted by the law of the foreign corporation. MBCA § 11.02(b). Under the MBCA, the plan of merger must first be adopted by a majority of the corporation's board of directors and then submitted to the corporations' shareholders for their approval. MBCA § 11.04(a) & (b). The plan must then receive the vote "of at least a majority of the votes entitled to be cast on the plan." MBCA § 11.04(e).

Here, Carlos and Diana, who constitute a majority of the board of Winery Inc. and who hold two-thirds of the corporation's outstanding shares, can approve the merger under the majority-voting provisions of State A, which has adopted the MBCA. Thus, given that there is no shareholders' agreement here that specifies different voting rules, Ethan cannot block the merger by voting against it.

[NOTE: Given that only Carlos and Diana will form Organic Wines Corp. in State B as a benefit corporation, they will be able to control that corporation's board of directors and will own all the shares before the merger. Thus, the approval of the merger by the relevant constituents of Organic Wines Corp. is a foregone conclusion.]

Point Two (30%)

Ethan has a right to demand that he receive payment in cash for the fair value of his shares in Winery Inc. rather than receive Organic Wines Corp. shares in the merger.

Under the MBCA, a shareholder who dissents from certain fundamental corporate transactions, including a merger, is entitled to demand payment in cash for her shares from the corporation,

through either a negotiation process or a judicial appraisal in which she receives payment in cash for the fair value of her shares. MBCA § 13.02(a)(1) (appraisal available to dissenting shareholder in a merger, where shareholder approval of the merger is required, the dissenting shareholder is entitled to vote on the merger, and such shareholder's shares do not remain outstanding after the merger); *see also* MBCA § 13.02(b)(1) (making appraisal unavailable for shares of certain publicly traded corporations, the so-called "market out" exception).

Here, because Ethan has a right to appraisal of his shares, he would be entitled to payment in cash by Organic Wines Corp. (the surviving corporation in the merger) of the "fair value" of his Winery Inc. shares.

[NOTE: The following matters are beyond minimal competence, and an examinee should not be expected to discuss the matters in this note. They are included for the benefit of graders.

To preserve his right to receive the fair value of his shares, Ethan must give pre-merger written notice of his intent to demand payment, not vote for the merger, and, following the merger, make an actual demand for payment. A shareholder who dissents from a merger must preserve his right to appraisal by giving written notice before the vote on the merger of his intent to demand payment if the merger is effectuated and then not vote in favor of the merger. MBCA § 13.21(a).

After the merger is approved, the shareholder must then demand payment from the corporation, and within 30 days the corporation must pay the shareholder the corporation's estimate of fair value. MBCA § 13.24. Then, if the shareholder is dissatisfied with this payment, the corporation must attempt to settle any shortfall between the amount the shareholder seeks and the amount paid. MBCA §§ 13.26, 13.30(a). If these negotiations fail, the shareholder is entitled to a judicial appraisal of the fair value of his shares.]

Point Three (40%)

Under the internal affairs doctrine, the duties of directors to their corporation and its shareholders are determined by the state of incorporation, not by a state where the corporation operates or the state where the suit is brought. Thus, even if the corporate law of State A calls on corporate directors to maximize shareholder profits, Ethan's lawsuit could not successfully claim that the directors of the corporation promoted the corporation's stated social/environmental purpose at the expense of shareholder profits.

Under the MBCA, a "foreign corporation" is defined as a business corporation incorporated under the laws of another jurisdiction. MBCA § 1.40. Under the MBCA, a foreign corporation is permitted to operate and transact business within the state by obtaining a foreign registration statement. MBCA § 15.03 (describing basic information that must be set forth in application for foreign registration statement).

The internal affairs of the foreign corporation—that is, the legal relationships between and among its shareholders, directors, and officers—are governed by the state of incorporation even when the corporation's business and assets are located primarily in other states or the corporation operates in another state. *See* MBCA § 15.01(a)(1) (stating that the "law of the jurisdiction of formation of a foreign corporation governs . . . the internal affairs of the foreign corporation"). Further, a foreign corporation is not precluded from registering to do business in a state because

of any difference between the law of the foreign corporation's jurisdiction of formation and the law of the state in which it seeks to do business. MBCA § 15.01(b).

Here, the duties of the directors of Organic Wines Corp. to further the corporation's social/environmental purpose are governed by the law of the corporation's state of incorporation, here, State B. Under the benefit-corporation statute of State B, the directors of Organic Wines Corp. are required to promote the social/environmental purpose of the corporation, even if at the expense of the corporation's shareholders. The benefit-corporation statute of State B, like those of other states, thus seeks to countermand the judicial view that the purpose of the business corporation is to maximize shareholder profits. See *Dodge v. Ford Motor Co.*, 170 N.W. 668 (Mich. 1919) (requiring the payment of special dividends, on the theory the business corporation is "organized and carried on primarily for the profit of the stockholders"); *eBay Domestic Holdings, Inc. v. Newmark*, 16 A.3d 1, 32–35 (Del. Ch. 2010) (holding that poison pill meant to preserve "public-service mission" of Craigslist was unreasonable because it failed to "promote shareholder value"). One significant attribute of benefit corporations is that corporate directors are required to advance the corporation's social/environmental purpose even if at shareholder expense. See Dana Brakman Reiser, *Benefit Corporation—A Sustainable Form of Corporation?* 46 WAKE FOREST L. REV. 591 (Fall 2011) (describing how benefit corporation statutes create liability shields for directors who perform their duties consistent with the social and environmental purposes specified in the corporation's articles).

Thus, a shareholder who sued the directors of Organic Wines Corp. in State A for failing to maximize shareholder profits would fail under the benefit-corporation statute of State B, assuming the directors could justify their actions as somehow consistent with the social/environmental purpose of the corporation to promote sustainable, organic winemaking. This is so even though State A's law on the duties of directors may be different from the law of State B, the state in which Organic Wines is incorporated.

[NOTE: An answer that discusses the business judgment rule (a presumption that directors make decisions on an informed basis, in good faith, and in the best interests of the corporation) should not receive credit. The question asks whether the directors could act to promote the corporation's stated social/environmental purpose at the expense of shareholder profits. The business judgment rule, though suggesting that directors in a benefit corporation should have broad discretion in furthering the corporation's purpose, does not resolve a conflict between shareholder profits and the stated social/environmental purpose of the corporation.]

JULY 2021 MEE
ANALYSIS 3 – FAMILY LAW

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

This question tests an examinee’s ability to

- (1) identify and apply statutory and constitutional rules governing jurisdiction in family-law cases;
- (2) distinguish Supreme Court doctrine when applied to new factual scenarios; and
- (3) identify and apply statutory and constitutional parental rights and obligations.

Legal Problems:

- (1) Did the State A court’s exercise of personal jurisdiction over the woman to determine paternity, custody, and child support based on her sexual activity in State A more than 15 years earlier meet the requirements of the due process clause?
- (2) Assuming that the State A court properly exercised jurisdiction over the woman and that it may constitutionally establish the man’s legal paternity, may the court
 - (a) award the man sole custody of the daughter?
 - (b) require the woman to pay the man child support?

DISCUSSION

Summary

Under the due process clause of the Fourteenth Amendment, a state may not exercise personal jurisdiction over a nonresident who lacks “minimum contacts” with the forum jurisdiction. Here, the State A court’s exercise of personal jurisdiction over the woman meets the minimum-contacts requirement because the activity on which personal jurisdiction is based (sexual intercourse) was purposeful and closely related to the man’s paternity, custody, and support claims.

Interstate custody disputes are governed by the Parental Kidnapping Prevention Act and the Uniform Child Custody Jurisdiction and Enforcement Act. Except in limited circumstances not applicable here, both statutes grant exclusive jurisdiction to issue an initial custody decree to a child’s home state. Because State A is not the daughter’s home state, it lacks jurisdiction to issue a child-custody decree.

Interstate child support disputes are governed by the Uniform Interstate Family Support Act (UIFSA), effective in all states. UIFSA does not limit jurisdiction to issue an initial child support order to a child's home state. But only a parent with custody may obtain a support award. Thus, because the State A court may not grant the man's custody petition, it may not order the woman to pay child support either.

Point One (40%)

The State A court's exercise of personal jurisdiction over the woman meets the requirements of the due process clause of the United States Constitution because the activity on which jurisdiction is based (sexual intercourse) was purposeful and closely related to the man's paternity, custody, and support claims. Moreover, the woman continued to live in State A for eight months and chose to give birth there.

The portion of State A's long-arm statute discussed in the facts is similar to the Uniform Interstate Family Support Act (UIFSA) § 201(6), which has been adopted in all states. The Supreme Court of the United States has not ruled on the constitutionality of this provision.

The Court has ruled that a custody determination may only be made through the exercise of personal jurisdiction. *May v. Anderson*, 345 U.S. 528 (1953). In *May*, the Court concluded that "a mother's right to custody of her children is a personal right entitled to at least as much protection as her right to alimony" (*id.* at 533) and found that a custody award based solely on the domicile of the child was not entitled to full faith and credit.

The leading decision on the due process requirements governing the establishment of personal jurisdiction over a nonresident parent is *Kulko v. Superior Court*, 436 U.S. 84 (1978), involving a claim for child support. In *Kulko*, the Court employed the "minimum contacts" test laid out in *International Shoe Co. v. Washington*, 326 U.S. 310 (1945), and reversed a state-court ruling extending long-arm jurisdiction over a nonresident parent based on his "consent[] to the permanent residence of the . . . child" in the forum state. The *Kulko* Court noted that due process demands "some act by which the defendant purposefully avails [him]self of the privilege of conducting activities within the forum state" (quoting *Hanson v. Denckla*, 357 U.S. at 253) before that state may exercise long-arm jurisdiction.

The long-arm statute at issue in this case relies on purposeful activity, specifically sexual intercourse. Although the Supreme Court has not ruled on the constitutionality of such a provision, state courts have exercised long-arm jurisdiction over a nonresident parent on similar facts. See *Dambakly v. Patire*, 754 N.Y.S.2d 308 (App. Div. 2003). State courts have also found that statutes like this one meet due process requirements. See, e.g., *Poindexter v. Poindexter*, 594 N.W.2d 76 (1999); *County of Humboldt v. Harris*, 254 Cal. Rptr. 49 (Cal. Ct. App. 1988); *Lake v. Butcher*, 679 P.2d 409 (Wash. Ct. App. 1984). In finding such statutes constitutional, courts have relied on the voluntary nature of sexual intercourse, the fact that pregnancy is a known risk of sexual intercourse, and the state's strong interest in ensuring that a child has two legal parents with care and support obligations. Although the cases typically have been brought *against* a putative father, their reasoning applies equally to a suit brought, as here, *by* a putative father.

Here, there is also more than the fact of sexual intercourse to justify long-arm jurisdiction under the due process clause. The woman lived in State A for several months, went through her pregnancy there, and gave birth to her daughter there, all of which are additional connections with State A that might support a finding of minimum contacts.

In sum, a State A court could exercise long-arm jurisdiction over the woman.

Point Two(a) (30%)

Because State A is not the daughter's home state, it lacks subject-matter jurisdiction to issue a child-custody decree.

Child-custody contests are governed by the federal Parental Kidnapping Prevention Act (PKPA), 28 U.S.C. § 1738A, and the Uniform Child Custody Jurisdiction and Enforcement Act (UCCJEA), in force in 49 states. Under both the PKPA and UCCJEA, when a child has a "home state," a state court may

make an initial child-custody determination only if: (1) this State is the home State of the child on the date of the commencement of the proceeding, or was the home State of the child within six months before the commencement of the proceeding and the child is absent from this State but a parent or person acting as a parent continues to live in this State.

UCCJEA § 201(a). *See also* 28 U.S.C. § 1738A(c)(2)(A). Except when a child is less than six months of age, a child's "home state" is "the State in which a child lived with a parent or a person acting as a parent for at least six consecutive months immediately before the commencement of a child-custody proceeding." UCCJEA § 102. A temporary absence of the child, parent, or person acting as a parent "is part of the period" used for determining home-state status. *Id.*

Here, the daughter had lived in State B for most of her life and had been in State A for only three weeks when the action was begun. Although the daughter is now absent from State B, her mother (the woman) continues to live there. Thus, State B is the daughter's home state and a State A court may not issue a child-custody decree.

Point Two(b) (30%)

Under UIFSA, the State A court would have subject-matter jurisdiction to award child support to the man if he were the daughter's custodial parent. However, because the State A court is precluded from issuing a custody decree in his favor, it may not award him child support.

UIFSA, adopted by all 50 states, governs subject-matter jurisdiction over interstate child support disputes. Like the PKPA and UCCJEA, UIFSA utilizes a "home state" jurisdictional rule. But the UIFSA home-state rule establishes *priority* among competing child support orders. Under UIFSA § 204, a state court may exercise jurisdiction to establish a support order "after a pleading is filed in another state" only if "this state is the home state of the child" or jurisdiction in the other state has been timely challenged. As long as the requirements for personal jurisdiction are met (requirements identical to those contained in State A's long-arm statute),

UIFSA's home-state rule does not preclude a state from issuing a support order when another state is the child's home state. *See* UIFSA § 204 comment. Because no competing child support pleading has been filed in State B, UIFSA does not bar a State A court from entering a child support order.

However, child support is typically paid to a custodial parent, and a custody transfer from one parent to the other will typically affect which parent receives child support and which parent pays. *See* UIFSA § 102 comment. When, as here, a parent (the woman, the daughter's mother) continues to be a child's sole custodian, a court may not order her to pay support to the noncustodial parent.

Thus, the State A court may not enter a support order against the woman because she retains sole custody of her daughter.

JULY 2021 MEE
ANALYSIS 4 – CRIMINAL LAW & PROCEDURE

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

One objective of this question is to test the examinee’s ability to analyze the appropriateness of police behavior in a “hot pursuit” situation by applying basic constitutional standards concerning seizures of persons and things, including knowledge of the circumstances in which a warrant is not required. A second objective is to test the examinee’s ability to apply due process rules to a situation where an out-of-court identification was made under highly suggestive circumstances but without deliberate police involvement in arranging the identification process.

Legal Problems:

- (1) Did the police officer violate the man’s Fourth Amendment rights when he entered the home and seized the man and the purse without a warrant?
- (2) Would the man’s right to due process be violated by the admission at trial of evidence of the girl’s on-the-scene identification of the man or by the girl’s in-court identification of the man?

DISCUSSION

Summary

The man’s Fourth Amendment rights were not violated. First, the police officer had probable cause to arrest the man on suspicion of robbery before the man entered his own home. Second, the officer immediately and continuously pursued the man from the crime scene into his home, bringing the officer’s entry into the man’s home within the “hot pursuit” exception to the Fourth Amendment warrant requirement. Finally, the officer’s seizure of the purse was justified because the purse was in plain view of the officer when he entered the home and he had probable cause to believe that the purse was evidence of a crime.

Allowing the teenage girl to make an in-court identification of the man and allowing testimony that the girl identified the man at the scene would not violate the man’s constitutional due process rights. Although the on-the-scene identification was highly suggestive and of questionable reliability, the police did not arrange the identification procedure and were only incidentally involved in it. If the on-the-scene identification did not violate the man’s due process rights, it should not taint subsequent in-court identification by the same witness. Thus, both the on-the-scene and in-court identifications should be admitted.

Point One(a) (10%)

The Fourth Amendment generally prohibits both the warrantless seizure of a person inside the person's home and the warrantless seizure of property inside the home, but exceptions to the warrant requirement exist and may apply to validate the officer's conduct.

Regarding both the officer's warrantless seizure of the man and warrantless seizure of the purse in the man's home, the Fourth Amendment guarantees the "right of the people to be secure in their persons, houses, papers, and effects, against unreasonable searches and seizures." U.S. Const. amend. IV. This "security of one's privacy against arbitrary intrusion by the police . . . is basic to a free society" and is enforceable against the states through the due process clause of the Fourteenth Amendment. *Wolf v. Colorado*, 338 U.S. 25, 27 (1949).

Warrantless home intrusions by police are generally unreasonable and violate the Fourth Amendment. *Payton v. New York*, 445 U.S. 573, 587 (1980). But several exceptions to the warrant requirement allow the police to proceed without a warrant in many typical law-enforcement situations. For the following reasons, the officer's entry into the man's home and the seizures of the man and the purse all fall within exceptions to the warrant requirement.

Point One(b) (40%)

Neither the officer's warrantless entry into the man's home nor the seizure of the man inside his home violated the man's Fourth Amendment rights because the officer had probable cause to arrest the man for a felony and the circumstances also satisfy the other elements of the "hot pursuit" exception to the warrant requirement.

Whether the officer could constitutionally enter the man's home and seize him depends on related issues: the authority to arrest generally and authority to effectuate the arrest inside a suspect's home.

Police may generally arrest a person without a warrant if they have probable cause to believe that the person has committed a felony. *United States v. Watson*, 423 U.S. 411 (1976). An officer has probable cause to make an arrest if, under the totality of the circumstances at the time of the arrest, an objectively reasonable police officer would find "a probability or substantial chance" that the person has committed a crime. *Illinois v. Gates*, 462 U.S. 213, 232 (1983). The officer here had probable cause to arrest the man for robbery, which is a felony in all jurisdictions. The question states that robbery is defined in this jurisdiction consistently with the common law. Under the common law, robbery is the taking with the intent to steal of the personal property of another from her person or in her presence, against her will, by violence or intimidation. The officer had sufficient reason to believe that the man had taken the woman's personal property because an apparent eyewitness had told him that the man had knocked the woman down and taken her purse. Those facts, plus the fact that the man was running away while carrying a purse, would give a reasonable officer sufficient grounds to believe that the taking involved the man's intent to steal.

The officer also had sufficient reason to believe that the taking was against the woman's will because of the girl's statement that the man had "knocked" the woman to the ground before taking her purse. That same description and circumstance also gave the officer reason to believe

that the taking was from the woman's person and involved the use of force. The totality of the circumstances would inform an objectively reasonable police officer that there was "a probability or substantial chance" that the man had just committed a robbery. The officer therefore had probable cause to arrest the man, even before the officer entered the home and saw the purse.

The authority to arrest without a warrant does not extend to all locations. In *Payton v. New York*, the Supreme Court held that the rule allowing police to make warrantless arrests of suspected felons did not apply when the suspect was found in his own home. It is a "basic principle of Fourth Amendment law" that searches and seizures inside a home without a warrant are presumptively unreasonable. 445 U.S. at 586. Despite the general authority to arrest for probable cause, "the Fourth Amendment . . . prohibits the police from making a warrantless and nonconsensual entry into a suspect's home in order to make a routine felony arrest." *Id.* at 576. The lawfulness of the seizure of the man inside his home after the warrantless entry therefore depends on whether another valid exception to the warrant requirement applies here.

"Hot pursuit" is a recognized exception to the warrant requirement for home entry. Under this exception, police officers do not violate the Fourth Amendment by entering a home without a warrant if they enter while hotly pursuing a fleeing suspect whom they have probable cause to arrest. *United States v. Santana*, 427 U.S. 38, 42–43 (1976); *Warden v. Hayden*, 387 U.S. 294 (1967). The "hot pursuit" exception is a version of the broader exception that excuses the police from obtaining a warrant "when the exigencies of the situation make the needs of law enforcement so compelling that a warrantless search is objectively reasonable." *Missouri v. McNeely*, 569 U.S. 141, 148–49 (2013).

The exception applies here. As stated, the officer had probable cause to make the arrest. Also, the officer's chase clearly constituted "hot pursuit." Although the Supreme Court has never precisely defined the term, it has indicated that "hot pursuit" occurs when an officer engages in "immediate or continuous pursuit of the [suspect] from the scene of a crime." *Welsh v. Wisconsin*, 466 U.S. 740, 753 (1984). Here, the officer happened upon the apparent scene of a crime, immediately and continuously pursued the man from that scene to the home, and entered the home without any delay in the progression of the chase. Neither the man's locking of the door nor his ordering the officer off his back porch rendered the entry unconstitutional. Once exigent circumstances are established, police may kick open a door. *See generally Kentucky v. King*, 563 U.S. 452, 456 and 472 (2011).

In addition, the precipitating offense here was sufficiently serious to justify the application of the hot-pursuit warrant exception. In applying any exigency-based warrant exception, "an important factor to be considered when determining whether any exigency exists is the gravity of the underlying offense for which the arrest is being made." *Welsh*, 466 U.S. at 753. This is a particular concern in the context of police entries into private homes: the "application of the exigent-circumstances exception in the context of a home entry should rarely be sanctioned when there is probable cause to believe that only a minor offense . . . has been committed." *Id.* *See also Lange v. California*, 141 S. Ct. 2011 (2021). Here the suspect's flight and refusal to stop occurred in the context of his attempt to avoid capture for a robbery, a serious offense classified in all jurisdictions as a felony.

Point One(c) (20%)

Once the police officer was lawfully inside the home, he could seize the purse from the man without a warrant because the purse was in plain view and was evidence of a crime.

Although the police officer was lawfully in the man's home and had probable cause to arrest the man, those facts did not necessarily give the officer the right to seize the purse that was near where the man was standing. A seizure of property, without a warrant, is presumptively unreasonable under the Fourth Amendment and is constitutional only if it falls within an exception to the warrant requirement. Here the seizure fell within the "plain view" doctrine.

Under the "plain view" doctrine, a police officer may make a warrantless seizure of an item when three requirements are satisfied. First, the "officer must be lawfully located in a place from which the object can be plainly seen." Second, the officer must have "a lawful right of access to the object itself." Finally, the incriminating character of the object must be "immediately apparent." *Horton v. California*, 496 U.S. 128, 136–37 (1990).

All three requirements are satisfied. The first two requirements are satisfied because, as stated above, the officer lawfully entered the man's home under the "hot pursuit" exception to the warrant requirement. Once the officer was in the home, the purse was in plain view of the officer. He had lawful access to it for the same reason: he was lawfully in the presence of the item because he entered the home pursuant to the "hot pursuit" exception. *See Coolidge v. New Hampshire*, 403 U.S. 443, 465 (1971) (stating that seizure of items in plain view is justified when police are lawfully present under one of the recognized exceptions to the warrant requirement, including the "hot pursuit" exception).

The incriminating nature of the item was also "immediately apparent" under the circumstances. The officer had chased the man to the home after being told that the man had stolen a woman's purse. After he kicked open the door, the officer saw the man breathing heavily, and he saw a purse, suspecting that it was the woman's. The officer had good reason to believe that the man was the person he had been chasing and that the purse was the purse allegedly taken from the woman. On these facts, the incriminating nature of the purse was "immediately apparent" and its seizure was justified under the plain-view doctrine.

Point Two (30%)

The on-the-scene identification procedure, though highly suggestive, did not violate the man's due process rights because the police did not arrange the procedure. Therefore neither the on-the-scene nor the in-court identification is inadmissible on constitutional grounds.

The Fourteenth Amendment's due process clause bears on whether the on-scene and in-court identifications are admissible. Three issues ordinarily determine whether the state can properly introduce identification evidence: (1) whether the police were involved in arranging the procedure, (2) whether the identification process was highly suggestive and therefore unreliable, and if so, (3) whether the suggestive procedure was necessary under the circumstances. *See Perry v. New Hampshire*, 565 U.S. 228, 238–39 (2012) (synthesizing the analyses of *Neil v. Biggers*, 409 U.S. 188 (1972), and *Manson v. Brathwaite*, 432 U.S. 98 (1977)). Generally speaking, the state may not introduce evidence of an out-of-court identification, or elicit a

subsequent in-court identification from the same witness, if the out-of-court identification process was “so unnecessarily suggestive and conducive to irreparable mistaken identification that [the suspect] was denied due process of law.” *Stovall v. Denno*, 388 U.S. 293, 302 (1967). But in *Perry v. New Hampshire*, the Court sharply narrowed a defendant’s ability to successfully object to any identification as a violation of due process to cases where the defendant can also prove that the “unnecessarily suggestive circumstances [were] arranged by law enforcement.” 565 U.S. at 248.

Here the man could not successfully object to evidence that the teenage girl identified him at the scene or prohibit the state from having the girl identify him in court. This is because, under *Perry*, neither her out-of-court identification nor the suggestive circumstances under which it occurred were “arranged by law enforcement.”

The *Perry* Court reasoned that on-the-scene identification evidence of dubious reliability could be admitted without violating a defendant’s due process rights when a witness, asked by police for a specific description of the burglary suspect, simply “pointed to her kitchen window and said the person she saw breaking into Clavijo’s car was standing in the parking lot, next to the police officer” who was detaining him. *Id.* at 234. Despite police involvement with the defendant and with the witness at the crime scene, the *Perry* Court found that the police did not arrange the identification procedure:

When no improper law enforcement activity is involved, we hold, it suffices to test reliability through the rights and opportunities generally designed for that purpose, notably, the presence of counsel at postindictment lineups, vigorous cross-examination, protective rules of evidence, and jury instructions on both the fallibility of eyewitness identification and the requirement that guilt be proved beyond a reasonable doubt.

Id. at 233. Absent “improper police influence,” there is no due process restriction on the use of unreliable out-of-court identification or subsequent in-court identification by the same witness. *Id.*

Here, under *Perry*, the on-the-scene identification evidence as well as the in-court identification by the girl will likely be allowed. Although police officers were involved in detaining the suspect (the man) and discussing the crime with a witness (the girl), the identification occurred incidental to any police-suspect and police-witness interaction. And it happened on the witness’s own initiative, unanticipated by police. There was no improper police effort to influence the witness or her identification of the suspect and no due process violation.

JULY 2021 MEE
ANALYSIS 5 – DECEDENTS’ ESTATES

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

This question seeks to test an examinee’s understanding of anti-lapse statutes as well as the ability to interpret and accurately apply a statute. In addition, the examinee must demonstrate knowledge of common terms used in trusts and estates law and the operation of survivorship contingencies.

Legal Problems:

- (1) Does the state anti-lapse statute or the anti-lapse provision of the testator’s will (Clause 3) determine who takes the share of a beneficiary who predeceased the testator?
- (2) Assuming that Clause 3 of the testator’s will applies, who is entitled to the testator’s house, which was bequeathed to Doris, who predeceased the testator?
- (3) Does the residuary bequest to Bill lapse because of the express survivorship requirement in the testator’s will?
- (4) Who is entitled to Bill’s one-half share if the bequest to him lapses?
- (5) Who is entitled to Bill’s one-half share if the bequest to him does not lapse?

DISCUSSION

Summary

The State A anti-lapse statute provides that it does not apply where the decedent’s will provides otherwise. Here, the statute does not apply to the disposition of the testator’s assets because Clause 3 of the testator’s will expressly addresses the possibility of lapse resulting from a named beneficiary predeceasing the testator.

Under Clause 3 of the testator’s will, a deceased beneficiary’s share passes to the beneficiary’s “heirs” unless the will provides otherwise. “Heirs” is a technical legal term. It means those individuals who take (or who would take) a share of a decedent’s probate estate if that decedent dies intestate. Thus, under the terms of the testator’s will, the bequest of the testator’s house to Doris, who predeceased the testator, passes to her nephew who is her heir, not to the charity, the beneficiary under Doris’s will.

Unlike the bequest to Doris, the residuary bequest to Bill is subject to an express survivorship requirement, as evidenced by the phrase “if he survives me.” When survivorship is expressly required, as here, a will would likely be construed to provide that any protection against lapse

does not apply. This would be analogous to how an anti-lapse statute would work in most states. If Clause 3 is so construed, the bequest to Bill of one-half of the residue likely lapses.

If the bequest to Bill lapses, then whether the lapsed bequest passes to Alice, as the sole surviving residuary beneficiary, or to the testator's only heir, her sister, depends on whether State A utilizes the "no residue of a residue" rule or the "residue of a residue" rule. Under the former approach, the testator's sister and Alice take equal shares of the \$250,000 residue; under the latter approach, Alice takes the entire \$250,000.

If the bequest to Bill does not lapse, then according to Clause 3 of the will, that bequest passes to Bill's heir, his daughter.

Point One (15%)

Clause 3 of the testator's will, not the State A anti-lapse statute, determines who takes the share of a beneficiary who predeceases the testator.

In common with all anti-lapse statutes in the United States, the State A anti-lapse statute creates only a default rule, as it expressly states that it applies "[u]nless the decedent's will provides otherwise." Furthermore, because the State A statute is a default rule giving way to a contrary intent, a testator need not conform to the state's statutory lapse scheme in any respect. Here, the State A anti-lapse statute does not apply because the testator's will contains Clause 3, which expressly deals with what is to happen to the share of a beneficiary who predeceases the testator.

[NOTE: The primary difference between the State A anti-lapse statute and Clause 3 of the testator's will is that under the statute a share saved from lapse passes to the deceased beneficiary's issue whereas under Clause 3 it passes to the deceased beneficiary's heirs.]

Point Two (25%)

The testator's house passes to Doris's nephew, who is her heir.

The testator bequeathed her house to Doris, who predeceased the testator. Unlike the bequests to Bill and Alice, the bequest to Doris is not subject to a survivorship contingency. In other words, the testator did not condition the bequest to Doris upon Doris's surviving the testator. Therefore, the bequest does not fail because Doris predeceased the testator. Because of Clause 3 of the testator's will, as Doris predeceased the testator and the will did not require Doris to survive the testator, the house passes to Doris's heir(s).

Heirs are those individuals who take a share of a decedent's probate estate when that decedent dies intestate. Here, Doris's heir is her nephew. The fact that Doris bequeathed her estate to a charity, and not to her nephew, does not alter this result. The charity is the testamentary beneficiary of Doris's estate, but it is not Doris's heir.

Thus, the testator's house passes to Doris's nephew.

Point Three (30%)

Because Bill predeceased the testator and the gift to him was subject to an express survivorship contingency, most likely the bequest to him lapses and does not pass to Bill's daughter.

Clause 3 of the testator's will provides: "If any beneficiary under either of the foregoing two provisions of this will predeceases me *and my will does not expressly provide otherwise*, the heirs of the deceased beneficiary shall take the beneficiary's bequest." (emphasis added)

The residuary clause of the testator's will expressly provides that the bequests to Alice and Bill are subject to a survivorship contingency. When construing a state anti-lapse statute, an express survivorship requirement like this is typically construed to mean that there is no protection from lapse. In other words, the phrase evidences a testator's intent that only if the named beneficiary survives the testator will the bequest be given effect. *See generally* William M. McGovern, Jr., Sheldon F. Kurtz & David M. English, *Principles of Wills, Trusts, and Estates* 259–260 (5th ed. 2017).

In construing Clause 3, courts will look to the testator's intent. *Id.* at 269. Because Clause 3 is analogous to an anti-lapse statute, the phrase "if he [Bill] survives me" is likely to have the same impact as it would if the state anti-lapse statute applied. The testator's use of the phrase "if X survives me" with respect to some but not all bequests in her will demonstrates that the testator deliberately distinguished a gift subject to survivorship from one that was not. When coupled with Clause 3, the use of the phrase further suggests an intent to allow lapse in some circumstances but not in others.

Here, because the testator expressly conditioned each residuary beneficiary's bequest on survivorship by use of the phrase "if he [or she] survives me," compared with the bequest to Doris, which did not contain that phrase, the bequest to Bill most likely lapses. Thus Bill's daughter, who would have taken as his heir absent the survivorship contingency, does not take his share of the residuary estate.

The Uniform Probate Code (UPC), however, takes a contrary approach with respect to the effect of the phrase "if he [or she] survives me." It provides in Section 2-603(b) that an express survivorship contingency does not evidence intent for the anti-lapse statute to be inapplicable. If the UPC interpretive rule respecting survivorship contingencies is applied by analogy to Clause 3, then Bill's residuary share passes to Bill's heir—his daughter.

[NOTE: Because this question could be answered either way, it is important to grade this question based upon the quality of the explanation, not merely on the conclusion.]

Point Four (20%)

If the bequest to Bill lapses, then depending on whether or not State A applies the "no residue of a residue" rule, the lapsed residuary bequest to Bill passes either to Alice, the surviving residuary beneficiary, or to the testator's sister as the testator's heir.

If a general or specific bequest lapses, it falls into the residuary and passes to the residuary beneficiaries. If, on the other hand, a residuary bequest lapses, its disposition depends on whether the jurisdiction (1) follows the traditional common law "no residue of a residue" rule (*see* McGovern Et Al. at 399–400) or (2) has adopted, by case law or statute, a "residue of a residue" approach. *See, e.g.*, Unif. Probate Code § 2-604(b). The latter (residue of a residue rule) has become increasingly accepted on the theory that a testator, by writing a will, expresses a preference for those beneficiaries named in the will and not for his or her heirs.

If the bequest to Bill lapses, it does not pass to Bill's heir. Thus, what happens to Bill's one-half share of the bank account depends on whether State A applies the common law no-residue-of-a-residue rule. Under the no-residue-of-a-residue rule, Bill's share passes to the testator's heir, the testator's sister. In this case, Alice would take half (\$125,000) of the bank account and the testator's sister the other half. If, on the other hand, State A applies the "residue of a residue" approach, Bill's share goes to Alice, the sole surviving residuary beneficiary. Alice would then take the entire \$250,000 in the bank account.

Point Five (10%)

If the bequest to Bill does not lapse, it passes to his heir, his daughter.

If the bequest to Bill is saved from lapse by Clause 3 (*see* Point Three), it passes to Bill's heir, which is his daughter. In such case, one-half of the residuary estate (the bank account) passes to Alice and the other half to Bill's daughter.

JULY 2021 MEE
ANALYSIS 6 – CIVIL PROCEDURE

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

The objective of this question is to test an examinee’s knowledge of whether state claims not based on diversity jurisdiction can be brought in federal court and the pleading requirements that apply to such claims. Specifically, it asks whether a state defamation claim can be brought with a federal age-discrimination claim under the court’s supplemental jurisdiction and whether a state pleading requirement that defamation claims be pleaded with specificity applies in a federal action.

Legal Problems:

- (1)(a) Does a federal court have original jurisdiction over a claim based on state defamation law when the parties are both citizens of the same state?
- (1)(b) May a federal court exercise supplemental jurisdiction over a state-law defamation claim when that claim is raised in a civil action that also raises a federal claim (here, a violation of the ADEA) and both claims arise out of the same workplace conflict between the plaintiff and the defendant?
- (1)(c) Under what circumstances may a federal court decline to exercise its supplemental jurisdiction?
- (2) Should a federal court dismiss a defamation action based on state law when the plaintiff has not alleged “the particular words constituting defamation” as required under state law?

DISCUSSION

Summary

The federal court would not have either federal-question or diversity jurisdiction over the woman’s defamation claim. Nonetheless, the court can hear the claim pursuant to its supplemental jurisdiction. The defamation claim arises out of the same nucleus of operative fact as the woman’s federal age-discrimination claim, and the facts do not present any special reason that the court should decline to exercise its supplemental jurisdiction. Thus, the court should not grant the attorney’s motion to dismiss the woman’s defamation claim for lack of subject-matter jurisdiction.

Although State A requires special pleading for defamation claims and the woman’s complaint does not satisfy those requirements, the pleading of state-law claims in federal court is governed by Federal Rule of Civil Procedure 8(a), which does not require specificity with respect to

defamation claims. Thus, the court should not grant the attorney's motion to dismiss the woman's defamation claim for failure to plead with specificity, given that the motion is based on an inapplicable state-law pleading requirement.

Point One(a) (10%)

The federal district court does not have original jurisdiction over the woman's defamation claim because it does not raise a federal question and there is no diversity between the parties.

The federal district courts have original jurisdiction over civil actions "arising under the Constitution, laws, or treaties of the United States" and over civil actions where the amount in controversy exceeds \$75,000 and the action "is between citizens of different States." See 28 U.S.C. § 1331 (federal-question jurisdiction) and 28 U.S.C. § 1332 (diversity jurisdiction). Here, neither type of original jurisdiction applies to the woman's defamation claim against the attorney.

To bring a claim in federal court pursuant to the court's federal-question jurisdiction, the claim must be based on federal law. That is, the issue of federal law must appear on the face of a properly pleaded complaint. See *Louisville & Nashville Railroad Co. v. Mottley*, 211 U.S. 149 (1908). Here, the woman's defamation claim is based on state law, not federal law.

Similarly, the defamation claim cannot be brought under the court's diversity jurisdiction. The facts clearly state that the woman and the attorney are both citizens and domiciliaries of State A. Thus, there is no diversity.

For these reasons, there is no independent basis for the federal district court to assert original jurisdiction over the woman's defamation claim. However, the claim can be brought in federal district court if it falls within the court's supplemental jurisdiction. See Point One(b).

[NOTE: An examinee might raise the possibility that the woman could claim original subject-matter jurisdiction based on a potential affirmative defense by the attorney that his alleged defamation was protected by the First Amendment to the U.S. Constitution. The facts, however, do not suggest the possibility of this defense. Moreover, *Mottley* makes clear that just because a defendant might be able to raise a defense under federal law does not suffice to bring the case within the court's federal-question jurisdiction. *Id.* The plaintiff's claim must itself rest on federal law. An answer that indicates the contrary should receive no credit.]

Point One(b) (40%)

The federal district court can exercise supplemental jurisdiction over the woman's defamation claim because it is "so related to" her age-discrimination claim, over which the court has federal-question jurisdiction, that it "form[s] part of the same case or controversy."

When a federal court has original federal-question jurisdiction over one claim raised in a civil action, it may exercise "supplemental jurisdiction" over "all other claims that are so related" to that claim "that they form part of the same case or controversy under Article III of the United States Constitution." 28 U.S.C. § 1367(a). The test most frequently used for determining whether claims are sufficiently related is whether the claims derive from a "common nucleus of operative fact" such that a plaintiff "would ordinarily be expected to try them all in one judicial

proceeding.” *United Mine Workers of America v. Gibbs*, 383 U.S. 715, 725 (1966) (establishing test for “pendent jurisdiction”).

Here, the woman has brought a claim under the federal Age Discrimination in Employment Act. Because the federal court has federal-question jurisdiction over that claim, the question is whether the woman’s state-law defamation claim arises out of a “common nucleus of operative fact” shared with her age-discrimination claim.

Both the woman’s age-discrimination claim and her defamation claim arise out of her treatment by the attorney who became her supervisor at the law firm where she worked. Both claims relate to how the woman was treated in the workplace, including what the attorney said to the woman and about her within the hearing of other employees of the firm. Both claims concern the alleged reasons for the woman’s being fired. The allegedly defamatory comments explicitly related to the woman’s characteristics as an employee and were made to justify the attorney’s decision to fire her. Under these circumstances, the claims arise out of a “common nucleus of operative fact,” and the woman would be reasonably expected to try both claims in a single proceeding.

Point One(c) (10%)

There is no basis for the federal district court to decline to exercise its supplemental jurisdiction. Thus, the court should not grant the attorney’s motion to dismiss the woman’s defamation claim for lack of subject-matter jurisdiction.

The fact that a federal court has the power to hear a supplemental claim “does not mean, of course, that it must do so. Instead, it may decline to exercise its power based on the factors laid out in 28 U.S.C. § 1367(c). The decision is left to the exercise of the district court’s discretion.” *Briarpatch Ltd., LP v. Phoenix Pictures, Inc.*, 373 F.3d 296, 308 (2d Cir. 2004).

Section 1367(c) provides that a court may decline to exercise its supplemental jurisdiction over a state-law claim if

- (1) the claim raises a novel or complex issue of State law;
- (2) the state-law claim substantially predominates over the federal claim;
- (3) all claims within the court’s original jurisdiction have been dismissed; or
- (4) there are “other compelling reasons for declining jurisdiction.”

Here, none of these reasons for refusing to exercise supplemental jurisdiction are present. There is no indication that the defamation claim raises any “novel or complex issue of State law.” There is no reason to believe that the state-law claim substantially predominates over the federal age-discrimination claim. To the contrary, the woman’s claim that she was fired because of her age appears to be at the heart of her lawsuit. Her federal claim has not been dismissed. Finally, no facts suggest any other “compelling reason” why the court should not hear the defamation claim alongside the related age-discrimination claim.

Thus, the court should not grant the attorney's motion to dismiss the woman's defamation claim for lack of subject-matter jurisdiction.

Point Two (40%)

Whether the woman has adequately pleaded her defamation claim will be determined by federal law, and not by State A's special pleading requirements, which do not apply in federal court. Thus, the court should not grant the attorney's motion to dismiss the woman's defamation claim for failing to plead with the specificity required by State A's pleading rules.

The issue is whether the woman's claim of defamation should be dismissed because she failed to satisfy a special state-law pleading rule concerning the specificity with which a complaint must state allegations of defamation. State A law requires a plaintiff claiming defamation to allege "the particular words constituting defamation." The woman's complaint did not state the defendant's exact words, and if the case were in state court, that failure might warrant dismissal of the action. *See Lemieux v. Fox*, 135 A.D.3d 713 (N.Y. App. Div. 2d Dept. 2016).

However, under the Federal Rules Enabling Act, 28 U.S.C. §§ 2071 *et seq.*, the Supreme Court is authorized to establish the rules of practice and procedure in federal courts, so long as those rules do not "abridge, enlarge or modify any substantive right." 28 U.S.C. § 2072. Pursuant to the authority granted by this act, the Federal Rules of Civil Procedure have been promulgated by the Court. Those rules govern all "civil actions and proceedings" in federal court, including actions raising claims arising under state law. FED. R. CIV. P. 1.

Here, Rule 8(a) governs the pleading of claims in federal court, and it provides that a pleading is adequate if it contains a "short and plain statement of the claim showing that the pleader is entitled to relief." There are no special pleading rules for defamation under the Federal Rules. Thus, the Rule 8(a) notice pleading standard generally applies to any claim brought in federal court and prevails over any state-law pleading rules. *See Hanna v. Plumer*, 380 U.S. 460, 471–74 (1965) (situations covered by a Federal Rule are governed by that Rule, and not by contrary state law unless the Federal Rule violates the Enabling Act or is contrary to the Constitution). Federal courts regularly conclude that special state rules regarding the pleading of defamation, like the rule in State A, are not applicable in federal court. *See Geisler v. Petrocelli*, 616 F.2d 636 (2d Cir. 1980) (special state-law pleading rules for defamation actions do not apply in federal court); *Williams v. Lipscomb*, 2018 WL 3672752 (W.D. Va. 2018) (refusing to apply a state rule requiring that defamation actions allege the "exact words" used by the defendant).

Thus, the court should not grant the attorney's motion to dismiss for lack of pleading specificity because the motion is based on State A pleading rules for defamation that are not applicable in federal court.

[NOTE: In *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007), and *Ashcroft v. Iqbal*, 556 U.S. 662, 678–80 (2009), the Supreme Court interpreted Rule 8(a) to mean that the plaintiff must allege, at a minimum, facts that state "a plausible claim for relief," not mere conclusory allegations. The woman's complaint appears to satisfy the federal notice pleading standard as interpreted by the Supreme Court. She alleges that the attorney made comments to the effect that she was dishonest and had committed theft. She alleges that such comments were false. Her complaint provides the approximate dates when the comments were made. Such comments, if

made, would likely be defamatory under any state law and would state a “plausible claim for relief.”

That said, an answer that discusses this interpretation of the Rule 8(a) pleading standard should not receive additional credit. The call of the question asks only whether the court should grant the attorney’s motion to dismiss for failing to plead defamation with the specificity required by the state pleading rules.]

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QUESTION 1 – SECURED TRANSACTIONS

A man decided to start a business repairing diesel-engine trucks. His mother's farm had a large metal barn that had been used in the past to repair farm machinery. As his mother no longer used the barn for that purpose, she agreed to let the man perform truck repairs in it. The barn contained a large portable welding machine (worth approximately \$25,000) that would be useful for making repairs on large trucks. The mother made it clear to her son that he could use the barn but not her welding machine. Nonetheless, without his mother's knowledge, the man frequently used the welding machine for truck repairs.

On June 1, the man obtained a \$50,000 business loan from a local bank. The man and the bank signed a loan agreement. It contained a provision pursuant to which the man granted the bank a security interest "in all my equipment, including equipment hereafter acquired" to secure his repayment obligation. On the same day, the bank properly filed a financing statement listing the man as the debtor and indicating that the collateral was "all equipment, including equipment hereafter acquired."

On June 10, the man bought some specialized tools used for diesel-engine repair. The man agreed to pay the tool seller \$15,000 for the tools, paying \$1,500 down and agreeing to pay the remaining \$13,500 to the tool seller in monthly installments over a two-year period. The man signed a written agreement granting the seller a security interest in these tools to secure the man's obligation to pay the remaining \$13,500. The next day, the tool seller properly filed a financing statement listing the man as the debtor and indicating that the collateral was "diesel-engine repair tools."

The man has defaulted on his obligations to the bank and the tool seller.

1. Does the bank have an enforceable security interest in the portable welding machine? Explain.
2. Both the bank and the tool seller are asserting interests in the diesel-engine repair tools that the tool seller sold to the man.
 - a) Does the bank have an enforceable security interest in these tools? Explain.
 - b) Does the tool seller have an enforceable security interest in the tools? Explain.
 - c) Assuming that both the bank and the tool seller have such security interests in these tools, whose interest has priority? Explain.

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QUESTION 2 – CRIMINAL LAW & PROCEDURE

A woman runs a gardening and landscaping business in State A. She uses a manual push mower to cut the grass and pruning shears to cut unwanted small branches from trees and large bushes.

Five months ago, the woman was hired to provide common-area mowing and landscaping services to a townhome community in which homeowners own some land commonly and some land individually. She also agreed to accept online service requests from homeowners in the community for individual landscaping jobs.

Last week, the woman was at the community cutting thick brush and small branches using her pruning shears. She finished the work at noon and decided to try to collect an overdue payment from a homeowner who had ordered and received \$100 worth of landscaping services from the woman's business but had never paid for the services. The woman, carrying her pruning shears, walked directly to the homeowner's townhome. When she reached the front door, she was still holding the pruning shears (but down at her side, pointed toward the ground). The woman rang the doorbell, and the homeowner, who was just leaving on an errand, opened the door.

The woman asked bluntly, "Where's the money?" The homeowner did not recognize the woman because the two had communicated only online. Neither the woman's clothing nor her truck bore the name of her landscaping business. Frightened by the woman's cold tone and the pruning shears in the woman's hand, the homeowner immediately pulled five \$20 bills from her purse, held the cash out toward the woman, and said, "Take it. This is all I have!" The woman said, "Fine. That's what I was expecting." The woman put the \$100 in her pocket and walked toward her truck. The homeowner slammed the door and called the police.

On the way to her truck, the woman was still annoyed that it had taken so long for payment. She muttered to herself, "More than three months overdue and not even a tip!" She decided that she was entitled to something extra. She glanced over her shoulder to make sure the homeowner wasn't looking and grabbed a bronze garden figurine from the homeowner's front lawn, put it in her truck, and drove away.

When the woman got back to her workshop, she offered the figurine to her assistant, saying, "I'll sell you this cheap. How about \$10? Just don't ask where I got it." The figurine looked new, and the assistant noticed a \$200 price tag attached to the bottom of the figurine. The assistant quickly handed the woman \$10, saying, "Wow. That's a great deal. These things are in high demand, and I bet I can sell it for a hefty profit."

State A has the following criminal statutes:

Theft: Theft is the unlawful taking and carrying away of property from the person or custody of another, with intent to permanently deprive the owner of the property.

Armed Robbery: Armed robbery is theft of property, when in the course of the theft the offender is carrying a dangerous weapon and either (1) uses force, violence, or assault or (2) puts the victim in fear of serious injury.

Criminal Possession of Stolen Property: A person commits criminal possession of stolen property when the person possesses property that the person knows or reasonably should know is stolen property with intent either (1) to benefit that person or a person other than an owner thereof or (2) to impede the recovery by an owner.

Dangerous Weapon: A dangerous weapon is any (1) firearm, (2) device that was designed for use as a weapon and capable of producing death or great bodily harm, or (3) device that is being used in a manner likely to produce death or great bodily harm.

State A courts have determined that all State A criminal statutes should be interpreted to incorporate common law mens rea requirements.

1. Analyzing all elements of each crime, did the woman commit
 - a) armed robbery of the \$100 cash? Explain.
 - b) theft of the figurine? Explain.
 - c) criminal possession of the figurine as stolen property? Explain.
2. Did the woman's assistant commit criminal possession of stolen property? Explain.

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QUESTION 3 – CORPORATIONS & LLCs

Six years ago, Amy and Bill incorporated a craft beer business as Beer Corporation (BC) in State A, whose corporate statute is modeled on the Model Business Corporation Act. Amy and Bill were the corporation's sole shareholders and sole directors at the time it was incorporated, and both of them were employed by BC.

Every fall after incorporation, Amy and Bill traveled to an internationally famous craft breweries trade show held in Germany to learn about the latest in craft brewing. Employees of other craft beer businesses that competed with BC did so as well. BC treated all expenses associated with attending the trade show as "ordinary and necessary" business expenses for accounting and tax purposes, and every year Amy and Bill used the corporate credit card to pay these expenses.

BC was successful, and Amy and Bill wanted to expand the business if they could get a significant capital infusion. Last year, they met Sharon, who agreed to invest in BC. In exchange for her investment, BC issued her new shares in the corporation. Sharon then owned 40% of the outstanding shares of BC. Amy and Bill then each owned 30% of BC's outstanding shares, and they continued to run the day-to-day business. Sharon was elected as the third director of BC.

At the first board meeting after Sharon's election to the board, Sharon questioned the need for Amy and Bill to go to Germany every year at corporate expense. Amy explained, "The trips give us new ideas about ingredients and brewing techniques. And incidentally, while we are there, we can do some sightseeing." In fact, many of BC's competitors covered such travel to Europe for their key employees. Sharon was not convinced about the need for this travel and said, "As far as I'm concerned, the practice must stop!"

At last month's regularly scheduled board meeting, Amy and Bill announced to Sharon that they were planning to travel to Belgium and not to Germany. "We believe that Belgium, not Germany, is where innovations in craft brewing are now happening, and we want to bring back fresh ideas for our business. We expect that the trip will take a full week, and while visiting different breweries we can also take in nearby museums and historic sites. As in the past, we will have BC pay all the expenses for that week."

Sharon objected and said, "If you do this, I'm going to sue!" But Amy and Bill were undeterred, and as a majority of the board, they voted to approve their trip to Belgium at corporate expense. The following week, they traveled to Belgium using BC's credit card. Upon their return, they caused BC to pay the credit card bill.

1. Did Amy and Bill have the authority as members of the board to vote to approve their trip to Belgium at corporate expense? Explain.
2. Did Amy and Bill violate the duty of loyalty by having the corporation pay for their Belgium trip over Sharon's objection? Explain.

3. Assuming that Amy and Bill violated the duty of loyalty by having the corporation pay for their Belgium trip, can Sharon personally recover from Amy and Bill all the expenses for that trip paid by BC? Explain.
4. Assuming that Amy and Bill violated the duty of loyalty by having the corporation pay for their prior trips to Germany, can Sharon bring a derivative claim to recover from Amy and Bill the expenses paid by BC that related to their prior trips to Germany? Explain.

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QUESTION 4 – AGENCY

Peter planned to open a 50-seat pizza parlor that would also make pizzas for home-delivery service. He asked his sister Angela to make some purchases for his pizza parlor. "First, to fit with the parlor's unique decor, I want you to buy 50 red chairs from the local furniture store, but don't spend more than \$10,000 on the chairs. Second, I want you to buy a new electric bicycle for pizza deliveries, but don't spend more than \$5,000. Finally, I'd like you to buy from the local restaurant supplier a pizza oven for the pizza parlor, but it shouldn't cost more than \$12,000." Angela responded, "I fully understand. Agreed."

That day, Angela went to the local furniture store. She told the salesperson that she wanted to buy 50 red chairs and to spend no more than \$10,000. The salesperson responded that red chairs were in high demand and that 50 of them would cost \$20,000, but that for \$10,000, Angela could buy 50 yellow chairs. Believing that Peter would prefer to stay within the \$10,000 budget, even though the chairs were yellow, Angela signed a written contract in her name alone to buy the yellow chairs from the store at that price. Angela did not mention to the salesperson that she was buying the chairs for anyone other than herself or that she had authority to buy only red chairs.

The next day, Angela went to a local bike shop to buy a new electric bicycle, again without mentioning that she was buying the bicycle for anyone else. The bike salesperson truthfully told Angela that she could get a used cargo bike that was not electric, but that could carry more than an electric bike. Believing that Peter would prefer the greater carrying capacity of the cargo bike, Angela purchased it for \$8,000, paying with her personal check made out to the bike shop. She immediately rode the bike to Peter, who at first was very annoyed with Angela for purchasing a used cargo bike rather than a new electric bike. But two days later, after trying out the cargo bike, he called Angela and said that he would keep the \$8,000 cargo bike because he liked its carrying capacity.

The following day, Peter called the local restaurant supplier in the morning and told the owner, "I am going to open a pizza parlor next month. I have asked my sister Angela to come to your store to purchase a pizza oven on my behalf for the pizza parlor." That afternoon Angela went to the supplier and signed a contract to buy a pizza oven as "Angela, on behalf of Peter." The price for the oven was \$15,000, which was a fair price for the pizza oven. The contract specified that the price was payable in full upon delivery. When the restaurant supplier delivered the oven to Peter, he refused to accept delivery or pay the \$15,000 purchase price, telling the delivery driver, "Take it back; I don't want it. It's too expensive."

Assume that there is an enforceable contract in each case.

1. As to the yellow chairs:
 - a) Is Peter bound by the contract signed by Angela with the furniture store? Explain.
 - b) Is Angela bound by the contract she signed with the furniture store? Explain.

2. As to the used cargo bike, can Angela recoup from Peter the \$8,000 that she paid to the bike shop for it? Explain.
3. As to the pizza oven, is Peter bound by the contract signed by Angela? Explain.

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QUESTION 5 – TRUSTS & FUTURE INTERESTS

Ten years ago, Settlor, a widower, established an irrevocable trust. At that time, Settlor had only one child, Daughter, who had two adult children, Ann and Bob.

The trust instrument named Settlor's friend as the sole trustee and stated, in pertinent part:

1. The trustee shall pay all trust income to Daughter, Ann, and Bob, in equal shares.
2. No income beneficiary may alienate or assign his or her trust interest, nor shall such interest be subject to the claims of his or her creditors.
3. Trust principal will be distributed following Daughter's death "as she may appoint by her will, among her heirs at law and in such shares as she, in her sole discretion, may deem appropriate."

Each year after the trust was established, the trustee distributed equal shares of trust income to Daughter, Ann, and Bob.

Two years ago, Settlor remarried. His wife recently gave birth to their twins. Settlor wants to ensure that his twins receive a share of trust principal after Daughter's death. Daughter has agreed to help effectuate this goal.

Last month, the trustee received letters from two of Bob's creditors seeking to have the claims they had against Bob paid from Bob's interest in the trust. One of these creditors, a bank, has a \$20,000 judgment against Bob for a loan that Bob did not repay.

The other creditor is Bob's former wife, who seeks to enforce a \$30,000 judgment against Bob for unpaid child support owed for their five-year-old child.

Since receiving the letters from the two creditors, the trustee has continued to pay trust income to Daughter, Ann, and Bob, but he has refused to pay anything to either of Bob's creditors.

Under the Uniform Trust Code:

1. May the bank reach Bob's interest in present and future distributions of trust income to satisfy its judgment against Bob? Explain.
2. May Bob's former wife reach Bob's interest in present and future distributions of trust income to satisfy her judgment against Bob? Explain.
3. With respect to the power of appointment:
 - a) What is the proper classification of Daughter's power of appointment? Explain.
 - b) Is it likely that an appointment of trust principal by Daughter to Settlor's twins would be effective? Explain.

- c) If Daughter fails to exercise her power of appointment, to whom would the trust principal pass upon her death? Explain.

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QUESTION 6 – CONTRACTS

Buyer manufactures scarves from various fabrics, including silk. It buys silk from various fabric importers including Seller, from whom Buyer has made over 250 purchases of silk during the last six years. In each of these earlier transactions, Seller delivered the silk to Buyer at no extra charge, and Buyer paid Seller the purchase price at the time of delivery.

On January 9, Buyer and Seller agreed in a telephone call that Buyer would buy 10,000 yards of silk from Seller on February 1 at a price of \$10 per yard. The next morning, Buyer sent a signed note to Seller, stating, "I'm glad that we were able to reach agreement so quickly yesterday on the deal for the 10,000 yards of silk I'm buying from you." Seller received the note two days later, read it, placed it in its files, and did not respond to it in any way. On February 1, Seller did not deliver silk to Buyer's place of business.

The next day, Buyer contacted Seller to complain. Seller replied, "This isn't a delivery order. You didn't say anything about delivery when you placed this order last month. Come pick it up—and hurry! Your order is taking up space in our warehouse." Buyer, who did not have a truck large enough to pick up the silk, responded by saying, "Deliver it by tomorrow or I'll see you in court."

Two days later, on February 4, when Seller had not delivered the silk to Buyer, Buyer made a good-faith and commercially reasonable purchase of 10,000 yards of silk of identical quality from Dealer at a price of \$12 per yard, including delivery to Buyer.

Buyer then sued Seller for \$20,000, alleging that Seller had breached its obligations under the January 9 agreement.

1. Is there a contract enforceable by Buyer against Seller arising from the January 9 agreement? Explain.
2. Assuming that there is a contract enforceable by Buyer against Seller arising from the January 9 agreement, does the contract require Seller to deliver the silk to Buyer's place of business? Explain.
3. Assume that there is a contract enforceable by Buyer against Seller arising from the January 9 agreement, that the contract requires Seller to deliver the silk to Buyer, and that Buyer suffered no incidental or consequential damages. Is Buyer entitled to damages of \$20,000 based on Buyer's purchase of substitute silk? Explain.

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ANALYSIS 1 – SECURED TRANSACTIONS

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

SEC (III.B., C.; IV.B., F.)

ANALYSIS

Legal Problems:

- (1) Does the bank have an enforceable security interest in the portable welding machine?
- (2)(a) Does the bank have an enforceable security interest in the diesel-engine repair tools?
- (2)(b) Does the tool seller have an enforceable security interest in these tools?
- (2)(c) Assuming that both the bank and the tool seller have such security interests in these tools, whose interest has priority?

DISCUSSION

Summary

Because the man's mother owns the portable welding machine, and there is no indication that the man has any ownership or other rights in it, the bank does not have an enforceable security interest in the machine.

The man granted the bank an enforceable security interest in all of the man's present and future equipment. This security interest, which covers the later-acquired tools, was perfected by the bank's filing of its financing statement. The tool seller also has a perfected security interest in the tools. Although the financing statement perfecting the tool seller's security interest was filed after that of the bank, the tool seller's security interest has priority because it is a purchase-money security interest that was perfected within 20 days of the debtor's possession of the collateral.

Point One (20%)

The bank does not have a security interest in the portable welding machine because the man had neither any rights in the machine nor the power to transfer any rights in it.

For a security interest to be enforceable, three requirements must be satisfied. UCC § 9-203(b). The first requirement is that "value" must be given. UCC § 9-203(b)(1). The second requirement is that the debtor must have "rights in the collateral or the power to transfer rights in the collateral to a secured party." UCC § 9-203(b)(2). The third requirement, in the context of a

security interest in goods not in the secured party's possession, is that the debtor must have authenticated (signed or its electronic equivalent) a security agreement containing a description of the collateral. UCC § 9-203(b)(3)(a).

Two of the requirements for enforceability are met on the facts of this problem. First, value was given when the bank loaned the man \$50,000. UCC § 1-204. Second, the man signed an agreement granting the bank a security interest in all of the man's equipment. Because this agreement creates or provides for a security interest, it is a security agreement. UCC § 9-102(a)(74). Moreover, because "equipment" means "goods other than inventory, farm products, or consumer goods," the portable welding machine is equipment and thus the security agreement contains a sufficient description of the collateral. *See* UCC §§ 9-102(a)(33), 9-108.

However, the third requirement (that the man have "rights in the collateral or the power to transfer rights . . . to a secured party") is not satisfied on these facts. The portable welding machine belongs to the man's mother, and he has no rights in it. There is no indication that the man's mother transferred any ownership interest or other rights in the machine to him. Indeed, the mother expressly stated that the man had no right to use the welding machine. Moreover, there is nothing in the facts that would indicate that the man ever had the power to transfer rights in the welding machine to anyone.

Because only two of the three criteria for the creation of an enforceable security interest were satisfied, the bank does not have an enforceable security interest in the welding machine.

[NOTE: Because all three criteria for the creation of an enforceable security interest must be satisfied, an examinee might focus only on the criterion that is not satisfied (that the debtor have rights in the collateral or the power to transfer rights in it to a secured party), since that is sufficient to reach the conclusion that the bank does not have an enforceable security interest. Such an answer should receive full credit.]

Point Two(a) (20%)

The bank has an enforceable security interest in the diesel-engine repair tools that the man bought after entering into the security agreement with the bank because all three statutory criteria are satisfied.

While the man did not own the diesel-engine repair tools at the time that he borrowed money from the bank, the security agreement that he signed stated that he granted the bank a security interest in "all my equipment, including equipment hereafter acquired." This is permitted by UCC § 9-204(a), which provides that "a security agreement may create or provide for a security interest in after-acquired collateral."

Once the man acquired the diesel-engine repair tools, all three elements of an enforceable security interest were satisfied. First, the bank gave value to the man by loaning him money. *See* UCC § 9-203(b)(1). Second, once the man acquired the tools, he had rights in them (notwithstanding that he had not paid the entire purchase price yet). *See* UCC § 9-203(b)(2).

Third, the man signed a security agreement granting the bank a security interest in his "equipment." Under UCC Article 9, equipment consists of goods that are not "inventory, farm products, or consumer goods." The tools do not fit into any of those categories, which are terms of art defined in UCC § 9-102. The tools are not farm products; they are not inventory because they are not held by the man for sale or lease and are not materials to be consumed in the business; and because the tools are used for business purposes, not "personal, family, or household purposes," they are not consumer goods. Thus, the tools are "equipment" as the term is defined in UCC Article 9. As a result, the third criterion of an enforceable nonpossessory security interest in goods (that the debtor authenticated a security agreement containing a description of the collateral) is satisfied. UCC § 9-203(b)(3)(A). Moreover, the description meets the standards for a sufficient description of the collateral because it reasonably identifies what is described. UCC § 9-108.

[NOTE: The bank's security interest in the diesel-engine repair tools is also perfected. This issue is addressed in Point Two(c) rather than here because it is not, strictly speaking, necessary for the determination of whether the bank has an enforceable security interest in those tools. Nonetheless, an examinee might address this point in conjunction with answering the first portion of the second call, rather than waiting until analyzing priority. Such an answer should receive full credit.]

Point Two(b) (15%)

The tool seller also has an enforceable security interest in the diesel-engine repair tools because all three statutory criteria are satisfied.

The tool seller also has an enforceable security interest in the diesel-engine repair tools because all three elements of UCC § 9-203(b) are met: value has been given, the debtor has rights in the collateral, and the debtor authenticated a security agreement containing a description of the collateral. (See Points One and Two(a) for more detailed descriptions of these criteria.)

Point Two(c) (45% total weight)

Both the security interest of the tool seller and the security interest of the bank are perfected by the filing of financing statements. Because the tool seller's security interest is a purchase-money security interest in non-inventory collateral, it has priority over the earlier-filed security interest of the bank.

(15% Perfection)

In determining the priority between two secured parties with enforceable security interests in the same assets of a debtor, it is important to determine first whether each of the security interests is perfected. A security interest is perfected if it has "attached" and the applicable additional requirements for perfection are met. UCC § 9-308(a). A security interest attaches when it becomes enforceable unless attachment is postponed to a later time by agreement. UCC § 9-203(a).

Here, both security interests are enforceable and there are no facts to indicate an agreement to postpone attachment, so both security interests attached when they became enforceable. The additional requirement for perfection of a nonpossessory security interest in goods is that a financing statement be filed with respect to the collateral. UCC § 9-310(a). As the facts indicate, both the bank and the tool seller filed properly completed financing statements listing the man as debtor and containing an indication of the collateral. (Under UCC § 9-504, an indication of collateral in a financing statement is sufficient if it satisfies the requirements set out in UCC § 9-108 for description of collateral in a security agreement.) Thus, both the security interest of the bank and the security interest of the tool seller were perfected.

(30% Priority)

Normally, between two secured parties, each of whom has a perfected security interest in the same collateral, priority is determined by the "first to file or perfect" rule of UCC § 9-322(a)(1) ("Priority dates from the earlier of the time a filing covering the collateral is first made or the security interest . . . is first perfected . . ."). Under that rule, the bank's security interest in the diesel-engine repair tools would have priority over the security interest of the tool seller because the bank's financing statement was filed before the tool seller's financing statement was filed.

The priority rule in UCC § 9-322(a)(1) is, however, subject to special rules with respect to purchase-money security interests in UCC § 9-324. The tool seller's security interest is a purchase-money security interest (PMSI), as that term is defined in UCC § 9-103(b)(1), because the collateral secures an obligation to pay the remaining purchase price of the diesel-engine repair tools (a "purchase-money obligation") and thus the collateral is "purchase-money collateral" with respect to the security interest. *See* UCC § 9-103(a).

Because the tool seller's perfected security interest is a purchase-money security interest and the collateral is not inventory, the special priority rule in UCC § 9-324(a) applies. Under that rule, a perfected purchase-money security interest in goods other than inventory "has priority over a conflicting security interest in the same goods" so long as the interest was perfected "when the debtor receive[d] possession of the collateral or within 20 days thereafter." UCC § 9-324(a). The tool seller delivered the tools to the man on June 10, and it perfected its security interest by filing a financing statement on June 11, one day later. Because the tool seller's security interest was perfected within 20 days of the man's receiving possession of the diesel-engine repair tools, the tool seller's perfected PMSI has priority over the bank's security interest, even though the bank's financing statement was filed earlier than that of the tool seller.

[NOTE: The bank's security interest is not a purchase-money security interest even if funds provided by the bank were used to make the down payment for the tools. That's because the man's obligation to the bank (to repay the loan) was not incurred as part of the purchase price for the tools and nothing indicates that the bank made the loan specifically "to enable the debtor to acquire rights in" the tools. UCC § 9-103(a).]

FEBRUARY 2022 MEE
ANALYSIS 2 – CRIMINAL LAW & PROCEDURE

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

CRM (II.A., B.; IV.B.1.)

ANALYSIS

Legal Problems:

- (1) Did the woman commit armed robbery of the \$100 cash?
- (2) Did the woman commit theft of the figurine?
- (3) Did the woman commit criminal possession of stolen property based on possession of the figurine?
- (4) Did the woman's assistant commit criminal possession of stolen property?

DISCUSSION

Summary

There are three reasons why the woman did not commit armed robbery when she took the cash from the homeowner. First, the woman did not commit theft when she received the money from the homeowner because she believed the homeowner was voluntarily paying her for the landscaping services previously provided. Because the woman lacked the mens rea required for theft, and theft is a necessary element of armed robbery, her conduct did not constitute armed robbery. Second, the woman was not carrying a dangerous weapon, as that term is defined in the statute. Third, the woman did not engage in either of the two alternative coercion-related elements of armed robbery: she did not engage in any actual "force, violence, or assault" and she did not intentionally put the homeowner in fear.

The woman did, however, commit theft when she took the figurine. All the elements of theft under State A's law are satisfied. First, the figurine had been in the homeowner's custody, sitting on her front lawn. Second, the homeowner never expressly or impliedly consented to the woman's taking of the figurine. And third, the woman intended to permanently deprive the homeowner of the figurine.

The woman also committed criminal possession of stolen property. After she took the figurine under the circumstances that constituted theft, she was necessarily in knowing possession of stolen property. And by selling the figurine, she demonstrated her intent both to benefit herself and to impede the homeowner's recovery of it.

The assistant committed criminal possession of stolen property. The assistant knew or reasonably should have known that the figurine was stolen because she purchased it under circumstances that would have informed an objectively reasonable person that the woman lacked the right to sell it: she offered to sell it at a cost much lower than the tagged price; the figurine was in new condition; and the woman had quipped, "Just don't ask where I got it."

Point One (35%)

The woman did not commit armed robbery of the \$100 cash.

The woman's conduct in removing the cash from the homeowner's hand violated State A's armed-robbery statute only if she engaged in a theft and did so meeting the additional elements of armed robbery as defined by the statute. The woman neither committed theft of the cash nor removed the cash in a manner that meets the additional statutory elements.

State A's armed-robbery statute incorporates its theft statute as the first element of an armed-robbery offense. Theft either expressly or implicitly carries the mens rea element of intent. Here the woman did not intend any unlawful taking, since the facts strongly indicate her belief that the homeowner was voluntarily paying her for the \$100 debt owed for landscaping services. The circumstances suggest that the woman accepted cash payment that, from her perspective, the homeowner was voluntarily providing to satisfy an obligation. Thus, the theft element of armed robbery is lacking. Although the homeowner may have thought the woman was stealing from her, the woman lacked the requisite mens rea of intent to steal. *See generally*, Wayne R. LaFave, Criminal Law § 19.5(d) (6th ed. 2017); *and see People v. Butler*, 421 P.2d 703, 706 (Cal. 1967) ("It has long been the rule . . . generally throughout the country that a bona fide belief, even though mistakenly held, that one has a right or claim to the property negates felonious intent" to steal). Therefore, under the statute, the woman did not commit armed robbery.

The second element of armed robbery also is lacking here. The facts do not indicate that the woman was "carrying a dangerous weapon" when the alleged taking occurred. Whether the woman's pruning shears are a "dangerous weapon" depends on the statutory definition. State A qualifies an object as a "dangerous weapon" in any of three categories, none of which covers the pruning shears here. The pruning shears do not fall within the first category, as they are not a type of "firearm." As to the second category, although it is true that pruning shears are "capable of producing death or great bodily harm," they are commonly known to be designed for cutting branches as a landscaping or gardening tool, not "for use as a weapon." The pruning shears therefore do not fall in the second category of dangerous weapons. And they do not fit the third and final catch-all statutory category because, although the pruning shears might be "used in a manner likely to produce death or great bodily harm," in this case the woman did not "use" them in that way, as she merely held the shears downward, at her side.

The third element, which can be established by either of two alternative coercive means, also is not met here. Specifically, the woman did not engage in an armed robbery unless, during her alleged theft while using a dangerous weapon, she also either used "force, violence, or assault" or she "put[] the victim in fear of serious injury." Neither of these occurred here. The facts suggest no physical conduct or violent threat that would constitute "force, violence, or assault." The first alternative coercion element is therefore lacking. Regarding the second alternative, although the

facts do suggest that the homeowner was in fear, the woman's actions will satisfy the "putting in fear" element only if she actually meant to use force or intended to put the homeowner in fear. *See, e.g., LaFave, supra* § 20.3(d)(2) (indicating that committing robbery by threat or intimidation requires "purposeful" use of threats or putting in fear). And the facts suggest only that the woman willingly expressed annoyance, not that she engaged in intimidating conduct designed to put the homeowner in fear of any kind, let alone fear of force or violence designed to coerce handing over money. The second coercion element is therefore lacking.

[NOTE: A complete answer to this question should discuss all three elements of armed robbery to receive full credit.]

Point Two (20%)

The woman committed theft when she took the figurine from the homeowner's custody without permission and with intent to permanently deprive her of it.

Whether the woman committed theft when she took the figurine depends on the application of State A's theft statute. "Theft is the unlawful taking and carrying away of property from the person or custody of another, with intent to permanently deprive the owner of the property." The facts here establish that the woman committed theft of the figurine.

The woman took the homeowner's figurine after the homeowner provided cash sufficient to cover the unrelated debt. Understanding that the \$100 entirely covered the amount owed for landscaping services and acting without the homeowner's consent, the woman evidenced her intent to steal by the taking. Her culpability is not excused by the suggestion that she felt "entitled" to more than the \$100. Context indicates that her supposed entitlement was not in the nature of a legal obligation, as the facts suggest that it arose only from the woman's indignation and her unilateral moral belief that "a tip" or "something extra" was warranted. That the woman did not actually believe she had any legal right to the figurine is also evidenced by the fact that she looked back at the home to ensure that "the homeowner wasn't looking" before she took it. And it is clear that she intended to permanently deprive the homeowner of the figurine because, shortly after taking it, she sold it to her assistant for cash. The woman committed theft when she took the figurine.

Point Three (20%)

The woman committed criminal possession of stolen property of the lawn figurine because she knowingly possessed and then sold the property taken from the custody of another with intent to benefit herself or to impede the recovery of the property by its owner.

Under the State A statute, a person commits criminal possession of stolen property by knowingly possessing stolen property with intent to either benefit herself or a person other than the owner or to impede the owner's recovery of the property. The actus reus of the crime of possession of stolen property is the wrongful possession of that property, regardless of the situation under which such possession was obtained. The mens rea element is the defendant's knowledge that the property was stolen. *See, e.g., People v. Hunt*, 112 A.D. 781 (App. Div., 4th Dep't, N.Y. 1985) (knowledge that property is stolen is "a necessary element of criminal possession of stolen property"). The actus reus and mens rea elements of criminal possession of stolen property are

certainly met here. The woman knew the figurine was stolen property because she had stolen it. And her conduct also meets the additional element of the statute because her selling of the figurine to her assistant establishes either (and in this case both) that she possessed it "to benefit [herself] or a person other than an owner" and that she intended "to impede the recovery by an owner."

[NOTE: In many jurisdictions, a defendant might not be convicted of both the crime of theft and the crime of possession of stolen property under these circumstances, since many states prohibit the conviction (or the punishment) of multiple offenses if they arise from the defendant's singular course of conduct. But those statutes, which raise statutory or constitutional concerns about double jeopardy, are not relevant to the question here, which asks simply whether the woman committed the crimes, not whether she might have some right to avoid being convicted of or punished for them.]

Point Four (25%)

The woman's assistant committed criminal possession of stolen property when she purchased the lawn figurine from the woman under circumstances that would have led a reasonable person to believe that the figurine was stolen.

Again, a person commits criminal possession of stolen property in State A by possessing property knowing the property is stolen or having reason to believe the property is stolen with intent to benefit herself or a person other than the owner or to impede the owner's recovery of the property. The circumstances satisfy the actus reus element of the assistant's crime because she acquired possession of the stolen lawn figurine after she purchased it from the woman. The assistant also acted to benefit herself, as she purchased the figurine in "a great deal" that left her with property greater in value than the amount she paid for it, and she also indicated her intent to sell the figurine "for a hefty profit" to herself.

The circumstances also satisfy the mens rea element of the assistant's crime. This element is met by alternative means under the statute provided, that the defendant possesses property that she either "knows" is stolen property or that she "reasonably should know is stolen property." Although the facts at hand do not establish that the assistant knew the figurine was stolen property, they do establish that the assistant reasonably should have known it was stolen property.

The facts as presented here are silent as to whether the assistant actually knew the figurine was stolen. In most jurisdictions, actual knowledge can be established through circumstantial evidence, and the circumstances here might convince a fact-finder to infer that the assistant actually knew that the figurine was stolen. Under the modern and majority view, this mens rea requirement would be proved from inferences from the surrounding circumstances rather than by direct evidence. See LaFave, *supra* § 20.2(d) n. 73 (citing *United States v. Prazak*, 623 F.2d 152 (10th Cir. 1980) (noting that a low price can support the inference that the purchaser knew the property was stolen)); *United States v. Werner*, 160 F.2d 438 (2d Cir. 1947) (same); *State v. Butler*, 450 P.2d 128 (Ariz. Ct. App. 1969) (same); *State v. Chester*, 707 So. 2d 973 (La. 1997) (same). See also *People v. Waterford*, 124 A.D.3d 1246 (N.Y. App. Div. 2015) (circumstantial evidence sufficient to support conviction of criminal possession of stolen property).

Here, however, it is unnecessary to rely on such inferences, because the facts readily meet the alternative mens rea element. An objectively reasonable person would believe that the lawn figurine was stolen based on the facts that the figurine looked new, it had a \$200 price tag (substantially in excess of the \$10 asking price), and the assistant heard the woman quip, "Just don't ask where I got it."

FEBRUARY 2022 MEE
ANALYSIS 3 – CORPORATIONS & LLCs

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

COR (V.B.; IX.; VI.A.)

ANALYSIS

Legal Problems:

- (1) As directors of BC, did Amy and Bill have the authority to approve their trip to Belgium at corporate expense?
- (2) Did Amy and Bill violate the duty of loyalty by having the corporation pay for their Belgium trip over Sharon's objection?
- (3) Assuming that Amy and Bill violated the duty of loyalty by having the corporation pay for their Belgium trip, can Sharon personally recover from Amy and Bill all the expenses for that trip paid by BC?
- (4) Assuming that Amy and Bill violated the duty of loyalty by having the corporation pay for their prior trips to Germany, can Sharon bring a derivative claim to recover from Amy and Bill the expenses paid by BC that related to their prior trips to Germany?

DISCUSSION

Summary

Amy and Bill, as a majority of the corporation's board of directors, had the authority in their role as directors to approve the corporation's payment of their travel expenses to Belgium, even though the transaction was a director's conflicting interest transaction (DCIT).

Under the Model Business Corporation Act (MBCA, rev'd 2016), a DCIT is a corporate transaction in which a director has a personal financial interest, raising the question whether they violated their duty of loyalty. By voting to have the corporation pay for their entire trip to Belgium, which included personal sight-seeing, Amy and Bill voted for a DCIT because they had a personal financial interest in the transaction. However, even if the transaction was not approved by disinterested directors or shareholders, payments of the travel expenses would not breach their duty of loyalty because these payments were "fair to the corporation." There is a strong argument that these payments were fair to the corporation. They served a reasonable business purpose (enabling corporate employees to learn about ingredients and brewing techniques) and were comparable to expenses incurred by other competing craft breweries for similar purposes. Furthermore, the payment for Amy's and Bill's visits to museums and historic sites was merely incidental.

Assuming that BC's payment of Amy's and Bill's travel expenses to Belgium was a breach of their duty of loyalty, Sharon may not recover those expenses personally because her suit would vindicate a wrong to the corporation, not to herself.

Even assuming that Amy and Bill violated a duty with respect to the corporation's payments of their prior travel expenses to Germany, Sharon was not a shareholder when these payments occurred, and thus she does not have standing to bring a derivative claim against Amy and Bill related to these payments.

[NOTE: The following analysis is based on the Model Business Corporation Act, as revised in 2016. This revision continues a safe-harbor approach for director self-dealing transactions, one first introduced to the MBCA in 2005. The analysis, however, would be the same under the earlier 2005 version and even the original 1984 version of the MBCA. Thirty-one states have modeled their corporate statute on the MBCA.]

Point One (20%)

Amy and Bill, as members of the corporation's board of directors, had the authority to vote to have the corporation pay their travel expenses to Belgium.

Generally, the corporation's board of directors makes decisions for the corporation. According to § 8.01 of the Model Business Corporation Act (MBCA, rev'd 2016), "Except as provided in a [proper shareholders' agreement], and subject to any limitation in the articles of incorporation . . . , all corporate powers shall be exercised by . . . the board of directors" of the corporation. MBCA § 8.01(b). Among the powers of the corporation is the power to "make contracts [and] incur liabilities." MBCA § 3.02(g). Further, the corporation's board of directors acts by "the affirmative vote of a majority of directors" present at a meeting where there is a quorum present. MBCA § 8.24(c) (board quorum is generally majority of corporation's directors).

Here, all three directors of the corporation were present at a meeting, and a majority of the directors (Amy and Bill) voted to authorize the corporation's payment of their travel expenses to Belgium. Thus, Amy and Bill had the authority to vote to have the corporation pay these expenses. Although this payment constituted a director's conflicting interest transaction (*see* Point Two(a)), the nature of the payments does not affect Amy's and Bill's directorial authority to vote to have the corporation pay their travel expenses.

Point Two(a) (15%)

The corporation's payment of Amy's and Bill's travel expenses for the trip to Belgium was a "director's conflicting interest transaction" (DCIT).

The MBCA addresses a director's duty of loyalty in corporate transactions where directors have a conflicting financial interest ("director's conflicting interest transaction" or DCIT). *See* Alan R. Palmiter, Frank Partnoy & Elizabeth Pollman, *Business Organizations: A Contemporary Approach* 587 (3d ed. 2019) (the "duty of loyalty" is "the duty a director owes when he or she enters into a transaction with the corporation.") A DCIT is any corporate transaction "respecting which . . . the director had knowledge and a material financial interest." MBCA § 8.60. A "material financial interest" means "a financial interest in a transaction that would reasonably be

expected to impair the objectivity of the director's judgment" when authorizing the transaction. *Id.*

Here, the corporation's payment of Amy's and Bill's travel expenses for the trip to Belgium, including any expense for touring museums and historic sites, constituted a DCIT. Amy's and Bill's financial interest in the corporation's payment of their travel expenses to Belgium—of which they were both aware—was a "material financial interest" under the statute given that there is a reasonable assumption that their objectivity about the payment was likely impaired when they approved it. Although they might argue that this travel was not personal, the corporation's payment of their travel expenses to a place that they wanted to visit ("to take in nearby museums and historic sites") would reasonably be expected to impair their objectivity. See MBCA § 8.60, Official Comment 4 (materiality of financial interest measured under objective standard).

[NOTE: Answers describing the payment by the corporation of Amy and Bill's travel expenses as directorial "self-dealing" should receive full credit. A similar analysis would apply in a jurisdiction with an "interested director" statute. See former MBCA § 8.31; Del. GCL § 144 (defining director self-dealing to include "transaction between a corporation and 1 or more of its directors"). Further, under the common law, a transaction with the corporation in which a director has a personal, material financial interest is treated as a self-dealing transaction and subject to heightened judicial scrutiny. See, e.g., *Globe Woolen Co. v. Utica Gas & El. Co.*, 224 N.Y. 483 (N.Y. 1918) (Cardozo, J.) (holding that corporation may void a contract entered into between the corporation and a separate corporation owned by one of its directors, given the directorial conflict of interest).

An answer that analyzes the corporation's payment of Amy's and Bill's travel expenses as a form of "executive or director compensation" should also discuss fairness. Whether characterized as compensation or as a non-compensation transaction with the corporation, the corporation's payment is subject to analysis as a DCIT. See MBCA § 8.61, Official Comment [Note on Directors' Compensation] (explaining that directors' compensation practices "do involve a conflicting interest" and must be acted upon by disinterested shareholders or be shown to be fair to the corporation). That is, the fairness of this payment does not depend on whether it was a form of compensation or merely an "ordinary and necessary" business expense.]

Point Two(b) (25%)

Amy and Bill violated the fiduciary duty of loyalty to the corporation by having the corporation pay their travel expenses to Belgium, unless they can show that the corporation's payment of these expenses was fair to the corporation. Here a strong argument exists that payment of their expenses was fair to BC.

Under the safe-harbor approach of Subchapter F of the MBCA, a DCIT is not subject to a judicial remedy because of the director's conflicting interest if the transaction was approved by informed, qualified directors or informed, qualified shareholders, or, alternatively, is shown to have been fair to the corporation. MBCA § 8.61(b). The MBCA defines a "qualified director" for purposes of a DCIT as a director without a material conflicting financial interest in the transaction and not related to the conflicted director (MBCA § 1.43(a)(4)) and defines "qualified

shares" as shares not held by a conflicted director or related person (MBCA § 8.63(c)(ii)). Further, the MBCA defines "fair to the corporation" to mean that the challenged transaction "as a whole was beneficial to the corporation, taking into appropriate account whether it was (i) fair in terms of the director's dealings with the corporation, and (ii) comparable to what might have been obtainable in an arm's length transaction, given the consideration paid or received by the corporation." MBCA § 8.60.

Here, the corporation's payment of Amy's and Bill's travel expenses to Belgium was not approved by Sharon, the only director and shareholder who did *not* have a conflicting financial interest in the transaction. Thus, the procedural safe harbors for a DCIT approved by informed, qualified directors (MBCA § 8.62) or by informed, qualified shareholders (MBCA § 8.63) do not apply in this case.

Nonetheless, Amy and Bill can show that the corporation's payment of their travel expenses was "fair to the corporation" even though at some level they personally benefited from the payment as well. They could argue that

1. The primary purpose of this travel was similar to the purpose of their earlier travel to Germany at corporate expense, which arguably was reasonable and contributed to the success of their craft brewing business.
2. At a board meeting, they presented their idea for a trip to Belgium at corporate expense and gave Sharon a chance to note any objections, though it is unclear whether Sharon knew of this practice when she became a shareholder.
3. Paying for personnel to travel to Europe to learn about the latest in craft brewing is entirely consistent with the practices of BC's competitors.
4. BC, if for no other reason than being competitive, would have paid these expenses for these purposes regardless of who was employed by BC.
5. While the travel also allowed Amy and Bill to visit museums and historic sites located near the breweries, this benefit was mostly incidental to the other benefits of the trip and most likely benefited BC as well.

These points strongly suggest that Amy and Bill could establish that their dealings with BC were fair and that the corporation's payment of their travel expenses would have happened in an arm's-length transaction.

[NOTE: Examinees who make a well-reasoned argument to the contrary should receive full credit.]

[NOTE: Generally, directors who engage in self-dealing with their corporation violate their duty of loyalty, unless they can prove that the self-dealing transaction was procedurally or substantively fair to the corporation. See *Palmiter, et al., supra*, at 594 (under modern corporate statutes, "an interested-director transaction will not automatically be void or voidable if *either* there has been informed, disinterested board approval *or* informed shareholder approval *or* the transaction is fair to the corporation"). Thus, absent a showing of procedural or substantive

fairness, the presumption of the business judgment rule does not apply to a director self-dealing transaction, and the court "may take such remedial action as it considers appropriate." MBCA § 8.61, Official Comment [Introduction].]

Point Three (20%)

Although Sharon could bring a derivative suit on behalf of the corporation claiming that Amy and Bill violated their duty of loyalty, any recovery would be to the corporation and not to Sharon personally.

Generally, a shareholder may bring a derivative suit to vindicate corporate rights when directors have breached their fiduciary duties to the corporation. See *Palmiter, et al.*, *supra*, at 503. "[A] derivative suit is an action on behalf of the corporation [that] has historically been the principal method of challenging allegedly illegal action by management." Introductory Comment, Subchapter D (Derivative Proceedings), MBCA §§ 7.40–7.47 (as amended in 1989); see 44 Bus. Law. 543, 548 (1989).

Because a derivative suit is brought on behalf of the corporation to enforce duties owed to the corporation, recovery in a derivative suit generally "inures to the corporation, with the proceeds becoming a part of the corporate assets." James D. Cox & Thomas Lee Hazen, 3 *Treatise on the Law of Corporations* § 15:4 (3d ed. 2018); see also *Keenan v. Eshleman*, 2 A.2d 904 (Del. 1938); *Wolf v. Rand*, 685 N.Y.S.2d 708, 710 (N.Y. App. Div. 1999); *Outen v. Mical*, 454 S.E.2d 883 (N.C. Ct. App. 1995).

Here, although Sharon could bring a derivative suit claiming that Amy and Bill breached the duty of loyalty that they owed to the corporation with respect to the corporation's payment of their travel expenses to Belgium, any recovery in such a suit would be paid to the corporation and not to Sharon personally.

[NOTE: There are, nonetheless, special circumstances when courts have allowed pro rata recovery by shareholders, thus directly distributing corporate funds to complaining shareholders. These circumstances include when the corporation is in liquidation, when corporate control has been sold, and when the wrongdoers retain control and returning funds to their control would be inequitable. See Cox & Hazen, *supra*, § 15:4 (summarizing cases). Thus, a complaining shareholder in a derivative suit may be entitled to receive a direct pro rata payment for the damage done to the corporation, rather than participate indirectly in any corporate recovery, when corporate recovery would be inequitable to the shareholder. And, even if there were justification for an exception to the corporate-recovery rule, Sharon's direct recovery would be pro rata based on her 40% ownership stake. That is, there is no basis for Sharon to personally recover *all* of the damages resulting from any breach of duty by Amy and Bill.]

[NOTE: Discussions of matters such as Sharon's contemporaneous and continuing ownership, the requirement of a demand on the board, or the possibility of the corporation's seeking dismissal of the suit should receive no credit. Although all these matters related to derivative litigation may be relevant under other facts, none were raised by the call in the question. The question asked only that the examinee address what *recovery* would be appropriate in a

derivative suit brought by Sharon against Amy and Bill. Therefore, there is no need to address the issues raised in this Note.]

Point Four (20%)

Even if Amy and Bill violated the duty of loyalty, Sharon does not have standing to bring a derivative claim with respect to Amy's and Bill's travel expenses to Germany. She was not a contemporaneous owner when the corporation paid these expenses.

Under the MBCA, to maintain a derivative suit on behalf of the corporation, the plaintiff-shareholder must be a contemporaneous owner. MBCA § 7.41 (requiring plaintiff in derivative suit have been shareholder "at the time of the act or omission complained of"). The purpose of the rule is to "align the plaintiff's economic interests with the corporate interest to be advanced by the diligent prosecution of the suit." Cox & Hazen, *supra* § 15:9. Further, as the Official Comment to MBCA § 7.41 explained when the section was first added, "The Model Act and the statutes of many states have long imposed a "contemporaneous ownership" rule." See *Changes to MBCA*, 44 Bus. Law. 543, 548 (1989). Although a few state statutes have relaxed this rule for subsequent purchasers "in limited circumstances," the MBCA's retention of the contemporaneous-ownership rule "was based primarily on the view that it was simple, clear, and easy to apply" and exceptions to the rule might encourage the acquisition of shares to bring a lawsuit. *Id.*

Here, Sharon was not a shareholder in the corporation when Amy and Bill had the corporation pay their travel expenses to Germany. Thus, even if these payments violated the duty of loyalty to the corporation, Sharon cannot enforce that duty in her derivative suit.

[NOTE: An answer that asserts that Amy and Bill, as sole shareholders, cannot have violated any duties to the corporation at the time of the corporation's payment of their travel expenses to Germany should receive no credit for this point. The question asked the examinee to assume there was a violation, and such payments might have constituted unlawful distributions if they would have rendered the corporation insolvent. See MBCA § 6.40(c) (no distribution permitted if "the corporation would not be able to pay its debts as they become due in the usual course of business").]

**FEBRUARY 2022 MEE
ANALYSIS 4 – AGENCY**

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

AGC (I.; II.A., B.)

ANALYSIS

Legal Problems:

- (1) As to the purchase of the yellow chairs:
 - (a) Is Peter bound by the contract signed by Angela with the furniture store?
 - (b) Is Angela bound by the contract she signed with the furniture store?
- (2) As to the used cargo bike, can Angela recoup from Peter the \$8,000 that she paid to the bike shop for it?
- (3) As to the pizza oven, is Peter bound by the contract signed by Angela?

DISCUSSION

Summary

As to the 50 yellow chairs, Peter is not bound by the contract with the furniture store because Angela entered into that contract without actual or apparent authority. Angela, on the other hand, is bound by the contract with the furniture store because she was a party to the contract acting on behalf of an undisclosed principal.

As to the used cargo bike, Peter ratified the purchase of the bike. Therefore, Angela is entitled to be reimbursed for the cost of the bike because she is deemed to have acted with actual authority by virtue of Peter's ratification of the purchase.

As to the pizza oven, Peter is bound by the contract for the pizza oven because Angela acted with apparent authority when signing the contract on behalf of Peter and the price paid under the contract was a fair price.

Point One(a) (30%)

Peter is not bound by the contract that Angela signed with the furniture store because Angela had neither actual nor apparent authority to purchase the yellow chairs on Peter's behalf.

An agent binds a principal to a contract entered into between the agent and a third party if the agent acts with actual or apparent authority. Restatement (Third) of Agency § 6.01 (2006), *accord*, Restatement (Second) of Agency § 140 (1958).

Actual authority "is created by a principal's manifestation to an agent that, as reasonably understood by the agent, expresses the principal's assent that the agent take action on the principal's behalf." Restatement (Third) of Agency § 3.01, *accord*, Restatement (Second) of Agency § 26. Here, Peter and Angela had no discussion about purchasing yellow chairs. To the contrary, Peter authorized Angela to purchase only red chairs for him, and Angela acknowledged this limitation when she said, "I fully understand. Agreed." Angela thus lacked actual authority to purchase the yellow chairs.

Furthermore, Angela did not act with apparent authority in purchasing the yellow chairs. "Apparent authority . . . is created by a person's manifestations that another has authority to act with legal consequences for the person who makes the manifestation, when a third party reasonably believes the actor to be authorized and the belief is traceable to the manifestation." Restatement (Third) of Agency § 3.03, *accord*, Restatement (Second) of Agency § 27. Here, there is nothing in the facts to indicate that Peter manifested any consent to the store owner for Angela to act as his agent or for her to purchase yellow chairs on his behalf.

Thus, because Angela lacked both actual and apparent authority to purchase yellow chairs on Peter's behalf, Peter is not bound by the contract that Angela signed with the furniture store for the purchase of yellow chairs.

Point One(b) (20%)

Angela is bound by the contract she signed with the furniture store for the purchase price of the yellow chairs because she entered into the contract on behalf of an undisclosed principal, and thus she is a party to the contract.

As noted above, Angela acted without actual or apparent authority in purchasing the yellow chairs and thus her contract with the furniture store is not binding upon Peter. On the other hand, Angela is personally liable to the seller on that contract. An agent who enters into a contract on behalf of an undisclosed principal is a party to the contract. Restatement (Third) of Agency § 6.03(2), *accord* Restatement (Second) of Agency § 322. Here, given that the store owner had no notice that Angela was acting as an agent for any other person and, furthermore, that Angela signed the chair contract in her name alone, Peter is clearly an undisclosed principal. Restatement (Second) of Agency § 4(3), *accord*, Restatement (Third) of Agency § 1.04(2)(b).

Thus, Angela is bound by the contract for the yellow chairs.

Point Two (25%)

Under the Restatement (Third) of Agency, Peter ratified the contract for the purchase of the used cargo bike and thus is obligated to reimburse Angela for the \$8,000 she paid for the bike. Under the Restatement (Second) of Agency, Peter, an undisclosed principal, cannot ratify the contract.

"Ratification is the affirmance of a prior act done by another, whereby the act is given effect as if done by an agent acting with actual authority." Restatement (Third) of Agency § 4.01(1). Under the Third Restatement, an undisclosed principal, as here, may ratify an unauthorized act of an agent where the agent acts for the principal even though the agent did not purport to act for the principal. *Id.* § 4.03 cmt. b. This rule is contrary to the Restatement (Second) of Agency, which requires an agent to "purport" to act on behalf of the ratifier in a transaction in order for the act to be ratifiable. *See* Restatement (Second) of Agency § 85(1).

Here Angela did not initially have actual authority to buy a used cargo bike because she and Peter discussed only the purchase of a new electric bike. However, when Peter decided to keep the used cargo bike because, after a two-day trial, he decided he liked its carrying capacity, he effectively ratified the contract under the Third Restatement. As noted in Restatement (Third) of Agency § 4.01, cmt. b,

[t]he act of ratification consists of an externally observable manifestation of assent to be bound by the prior act of another person. . . . [W]hen a person ratifies another's act, the legal consequence is that the person's legal relations are affected as they would have been had the actor been an agent acting with actual authority at the time of the act.

Peter's ratification thus created retroactive actual authority for Angela's purchase of the used cargo bike on his behalf.

Because the effect of Peter's ratification was retroactively to create actual authority for Angela's purchase of the cargo bike, Peter has a duty to indemnify Angela for the purchase. A principal has a duty to indemnify an agent when the agent makes a payment "(i) within the scope of the agent's actual authority, or (ii) that is beneficial to the principal." Restatement (Third) of Agency § 8.14. Here, Angela's payment for the used cargo bike (\$8,000) was thus within the scope of her actual authority as Peter's agent, and this purchase was beneficial to him (as principal). Thus, Peter must reimburse Angela the \$8,000 she paid for the used cargo bike.

Under the Second Restatement, as noted above, because Peter was an undisclosed principal, he could not ratify the contract. The reason for this rule is as follows:

Where there is a transaction between the purported agent and a third person, one reason for allowing ratification to be effective as prior authorization is to give to the other party what the other expected to get in dealing with the agent. This reason does not exist if the other party does not intend to deal with the principal. It does exist, however, when an act is done which is purported to be the principal's act or done on his account, even though the other party to the transaction knows that it is not the principal's act or done with his authority.

Restatement (Second) of Agency § 85 cmt. a.

This rule is rejected by the Third Restatement, which provides the following rationale:

First, the limitation [restricting ratification to disclosed principal or partially disclosed principals] is not necessary to prevent a person who is a stranger to a transaction from attempting to claim its benefit by ratifying. An undisclosed principal is not a stranger to the

agent. Second, whether to ratify is a choice an undisclosed principal should be free to make Finally, the fact that a third party does not expect the undisclosed principal's liability at the time the agent acts is no more persuasive an argument against ratification than it is against the general proposition that a third party may hold an undisclosed principal liable The third party is not disadvantaged by recognizing ratification by an undisclosed principal. When a principal is disclosed or unidentified, and the agent's act does not bind the principal, the principal's ratification may result in the loss of claims the third party could otherwise assert against the agent for breach of warranties of authority. . . . Offsetting the loss is the principal's assent to be bound by the agent's act. When a principal is undisclosed, the third party has no claims for breach of warranties of authority against the agent. An undisclosed principal's ratification does not eliminate the agent's liability to the third party on the transaction because an agent for an undisclosed principal has such liability when acting with actual authority. . . . The effect of ratification is to add the undisclosed principal as a party with rights and obligations stemming from the transaction.

Restatement (Third) of Agency § 4.03 cmt. b.

[NOTE: Examinees may receive full credit for using either of the two contrary approaches.]

Point Three (25%)

Peter is bound by the contract for the pizza oven because Angela acted with apparent authority when signing the contract on behalf of Peter.

An agent binds a principal to a contract entered into between the agent and a third party if the agent acts with actual or apparent authority. *See* Point One(a).

Here, Angela lacked actual authority to purchase the pizza oven for \$15,000. In their conversation, Peter made clear that Angela was to purchase the pizza oven for no more than \$12,000.

Nonetheless, a principal can be bound by the acts of another acting without actual authority when the other acts with apparent authority. "Apparent authority is the power held by an agent . . . to affect a principal's legal relations with third parties when a third party reasonably believes the actor has authority to act on behalf of the principal and that belief is traceable to the principal's manifestations." Restatement (Third) of Agency § 2.03, *accord*, Restatement (Second) of Agency § 8. "Apparent authority . . . is created by a person's manifestations that another has authority to act with legal consequences for the person who makes the manifestation, when a third party reasonably believes the actor to be authorized and the belief is traceable to the manifestation." Restatement (Third) of Agency § 3.03. *Accord*, Restatement (Second) of Agency § 27.

Here, Peter told the restaurant equipment supplier, "I am going to open a pizza parlor next month. I have asked my sister Angela to come to your store to purchase a pizza oven on my behalf for the pizza parlor." This statement is sufficient to support the conclusion that Angela had apparent authority to purchase the pizza oven on Peter's behalf. Furthermore, Angela's authority to purchase a pizza oven included the authority to spend \$15,000 for the oven because that amount was a fair price for a pizza oven. Therefore, the restaurant equipment supplier could

reasonably believe that Angela was authorized to agree on Peter's behalf to purchase a pizza oven at that price. *See generally* Restatement (Second) of Agency § 49. *See also* Restatement (Third) of Agency § 2.03, cmt. c.

Thus, Peter is bound by the contract to purchase the pizza oven.

FEBRUARY 2022 MEE
ANALYSIS 5 – TRUSTS & FUTURE INTERESTS

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

TRU (I.C., E.; II.D.; III.C.)

ANALYSIS

Legal Problems:

- (1) May the bank reach Bob's interest in present and future distributions of trust income to satisfy its judgment against Bob?
- (2) May Bob's former wife reach Bob's interest in present and future distributions of trust income to satisfy her judgment against Bob?
- (3)(a) What is the proper classification of Daughter's power of appointment created in clause 3 of the trust?
- (3)(b) Is it likely that an appointment of trust principal by Daughter to Settlor's twins would be effective?
- (3)(c) If Daughter fails to exercise her power of appointment, to whom would the trust principal pass upon her death?

DISCUSSION

Summary

Because the trust instrument provides Bob with "spendthrift protection," the bank, an ordinary creditor, cannot attach Bob's interest in present or future distributions of trust income in satisfaction of its \$20,000 judgment against him. However, under the Uniform Trust Code, child support creditors are "exception creditors" against whom spendthrift protection is not available; thus, Bob's former wife could reach Bob's interest in present or future trust income in satisfaction of the child's right to unpaid child support.

Daughter was granted a special testamentary power of appointment (sometimes called a "nongeneral" power). That power permits her to appoint trust assets only in her will and only to "her heirs at law." It is unlikely that Settlor's twins would be Daughter's heirs at law because she has two living children and one living grandchild (Bob's five-year-old child). Because the trust instrument fails to specify takers in default of appointment, if Daughter fails to exercise that power, the trust assets subject to Daughter's special power should be distributed to the permissible objects of the power, who are Daughter's heirs at law.

Point One (20%)

The bank, as an ordinary creditor, cannot reach Bob's interest in present and future distributions of trust income in satisfaction of its \$20,000 claim against Bob because that interest is subject to a spendthrift clause.

The trust provides "spendthrift protection" for its beneficiaries: under the spendthrift clause in the trust instrument, no beneficiary may assign his income interest, nor is such interest subject to the claims of creditors. Spendthrift protection is valid under the Uniform Trust Code and in virtually all United States jurisdictions. The validity of a spendthrift clause typically requires that the trust restrain both voluntary and involuntary transfer of a beneficiary's interest. *See* Unif. Trust Code § 502 cmt. When a trust provides spendthrift protection, an ordinary creditor may not reach the beneficiary-debtor's interest in present or future distributions from the trust. Unif. Trust Code § 502(c). *See also* Restatement (Third) of Trusts § 58(1); Restatement (Second) of Trusts §§ 152–53.

Here, the trust's spendthrift clause prohibits both voluntary and involuntary transfers. It is thus valid and precludes the bank from reaching Bob's interest in present and future distributions from the trust.

Point Two (30%)

Bob's former wife, a creditor of unpaid child support (a so-called "exception creditor") may reach Bob's interest in present or future distributions to satisfy unpaid child support.

An ordinary creditor of a trust beneficiary with spendthrift protection is precluded from reaching a beneficiary-debtor's interest in present or future distributions to or for the benefit of that beneficiary. Unif. Trust Code § 501. *See* Point One. On the other hand, so-called "exception creditors" are those who may reach the beneficiary-debtor's interest in "present or future distributions to or for the benefit of the beneficiary." Unif. Trust Code § 503(c). Under the Uniform Trust Code, a parent who has obtained a judgment for unpaid child support is an exception creditor and thus can reach the beneficiary-debtor's interest in present or future distributions from the trust. *Id.* §§ 503(b)(1) & (b)(2). *See also* Restatement (Second) of Trusts § 157(a); Restatement (Third) of Trusts § 59(a) (interest of creditor of unpaid child support can "reach" the beneficiary-debtor's interest "in satisfaction of an enforceable claim" against that beneficiary).

Here, because Bob's ex-wife has obtained a judgment for child support against Bob, she is an exception creditor who could reach Bob's interest in present or future distributions of trust income.

Point Three(a) (10%)

Under the trust instrument, Daughter received a special testamentary power of appointment.

Powers of appointment may be general or special. A general power is one that permits the appointee to appoint to himself, his creditors, the creditors of his estate, or his estate. Unif. Powers of Appointment Act § 102(6). All other powers are special powers of appointment, also

known as nongeneral powers. Melanie E. Leslie & Stewart Sterk, *Trusts and Estates* 145 (2006). The donor of a power (either general or special) may limit the time and manner in which the power may be exercised. For example, the donor of the power may specify that it may be exercised only during the donee's lifetime or only in his will. *Id.* at 146–47.

Here, the trust instrument does not permit Daughter, the donee of the power, to exercise it in favor of herself, her creditors, or her estate. The instrument also specifies that she must exercise the power by her will. Thus, Daughter received a special testamentary power of appointment.

Point Three(b) (25%)

An individual's heirs at law are determined by the laws of intestate succession and not by the individual's will. In all states, an intestate's half-siblings (like the twins) are not heirs of an intestate if the intestate dies with surviving descendants. Therefore, an appointment of trust assets to Settlor's twins will be ineffective unless Daughter dies without any living descendants, which seems unlikely here.

The donee of a special power may appoint only to those persons named by the donor as permissible objects. Other persons are "impermissible objects," and the donee may not appoint to them. *See generally* William M. McGovern, Sheldon F. Kurtz & David M. English, *Wills, Trusts, and Estates* 481–482 (4th ed. 2010).

The trust instrument expressly limits Daughter's power to appoint to her heirs at law; she may not appoint to anyone else. An "heir" or "heir at law" refers to a person who takes a share of an intestate's estate under a state's law of intestate distribution. Unif. Probate Code § 1-201(20); *see also* Bryan Garner, *Garner's Dictionary of Legal Usage* 274 (3d ed. 2011) (distinguishing "heir" from "devisee"). Heirs thus cannot be determined until an individual has died. Garner, *supra*, at 405; *Estate of Woodworth*, 22 Cal. Rptr. 2d 676 (Cal. Ct. App. 1993). And, because an heir is determined by an intestate distribution statute, the existence of a will is irrelevant to determining heirship. *See* Garner, *supra*. In all states, an intestate's half-siblings (such as the twins here) are not heirs if the intestate dies with surviving descendants. In the vast majority of states, the existence of a surviving spouse will also preclude the decedent's siblings from becoming heirs. Jesse Dukeminier, Robert H. Sitkoff & James Lindgren, *Wills, Trusts, and Estates* 74–77 (8th ed. 2006) (describing intestate distribution schemes).

Daughter has two children, Ann and Bob, and one grandchild. Because it is likely that one or more of Daughter's children and grandchildren will survive Daughter, it is unlikely that Settlor's twins, Daughter's half-siblings, will be her heirs.

Point Three(c) (15%)

When the donee of a special power of appointment fails to exercise that power and the trust instrument (as here) fails to specify takers in default of appointment, assets subject to the special power ordinarily are distributed to the permissible objects of the power. Here, the permissible objects of the power would be Daughter's heirs. Therefore, if Daughter died survived by one or more descendants, those descendants would be her heirs and the trust principal would be distributed to them.

When the donee of a special power fails to exercise the power, the assets pass to the takers in default of appointment, i.e., those individuals named in the instrument creating the power (here the trust instrument) as takers in the event the power is not exercised.

But when, as here, the trust instrument fails to specify takers in default of appointment, assets subject to a special power ordinarily pass under an implied default gift to the permissible appointees of the power living when the power lapses, if "(1) the permissible appointees are a defined and limited class and (2) the donor has not manifested an intent that the permissible appointees shall receive the appointive property only so far as the donee elects to appoint it to them." Restatement (Third) of Property: Wills and Other Donative Transfers § 19.23(b); *Loring v. Marshall*, 484 N.E.2d 1315 (Mass. 1985). Only when these requirements are not met will "the unappointed property pass[] under a reversionary interest to the donor or to the donor's transferees or successors in interest." Restatement (Third) of Property, *supra*.

Here, Settlor conferred on Daughter a special power of appointment over trust principal but did not specify takers in default of appointment. Daughter's power is testamentary; i.e., it may only be exercised by Daughter's will. It is also "special," i.e., Daughter may not appoint to herself, her creditors, her estate, or the creditors of her estate. Thus, the permissible appointees of Daughter's special power will take if they "are a defined and limited class" and if Settlor has not manifested an intent to grant them the property subject to the power only if Daughter elects to do so.

The permissible appointees of the power created by Settlor are "Daughter's heirs." Although Daughter's heirs cannot be identified with particularity now, her heirs will be clear at her death, when the power she possesses will lapse if she fails to exercise it. The permissible objects of the power thus meet the "defined and limited class" requirement. The trust instrument does not manifest any intent that permissible appointees only receive property if Daughter elects to appoint it to them; it says nothing at all on this topic. If Daughter fails to exercise her power, the trust assets thus would almost certainly pass to Daughter's heirs and would not revert to Settlor's estate.

**FEBRUARY 2022 MEE
ANALYSIS 6 – CONTRACTS**

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

CTR (I.B.; II.F.; III.C.; V.H.)

ANALYSIS

Legal Problems:

- (1) What body of law governs the transaction between Buyer and Seller?
- (2)(a) Is there a contract arising from the January 9 agreement?
- (2)(b) Is the contract enforceable by Buyer against Seller?
- (3) Does the contract require Seller to deliver the silk to Buyer?
- (4) Is Buyer entitled to damages of \$20,000?

DISCUSSION

Summary

The transaction here is a transaction in goods, and is therefore governed by Article 2 of the Uniform Commercial Code.

The January 9 telephone call was sufficient to create a contract, but, because the contract price was \$500 or more, the contract is not enforceable against Seller unless the Article 2 statute of frauds is satisfied. Here, because both Buyer and Seller are merchants, that statute of frauds is satisfied. This is because Buyer's signed note to Seller was sufficient to enable Seller to enforce the contract against Buyer, and Seller's failure to object within 10 days after receiving the note makes the contract enforceable against Seller.

While the oral agreement was silent as to delivery obligations, which would normally mean that tender was to take place at Seller's place of business, the parties' prior course of dealing, in which Seller repeatedly delivered silk to Buyer at no extra charge, supplements the oral agreement and results in a requirement that Seller deliver the silk to Buyer. Thus, Seller's failure to deliver the silk to Buyer is a breach of contract, entitling Buyer to damages.

Buyer made a covering purchase in substitution for the 10,000 yards of silk that would have been acquired from Seller. The price Buyer paid is \$2 more per yard than the contract price with Seller, for a total cost of \$120,000. Therefore, Buyer is entitled to damages of \$20,000 from Seller.

Point One (5%)

The transaction between Seller and Buyer is governed by Article 2 of the Uniform Commercial Code.

Article 2 of the Uniform Commercial Code (2002) governs transactions in goods. UCC § 2-102. "Goods" are "all things . . . movable at the time of identification to the contract for sale" UCC § 2-105(1). Under this definition, the silk constitutes goods. Therefore, UCC Article 2 governs this transaction.

Point Two(a) (10%)

The telephone call of January 9 was sufficient to form a contract for the sale of 10,000 yards of silk by Seller to Buyer on February 1 at a price of \$10 per yard.

"A contract for the sale of goods may be made in any manner sufficient to show agreement." UCC § 2-204(1). Moreover, "[e]ven though one or more terms are left open[,] a contract for sale does not fail for indefiniteness if the parties have intended to make a contract and there is a reasonably certain basis for giving an appropriate remedy." UCC § 2-204(3). Here, the facts make it clear that there was an agreement between Seller and Buyer for the sale of 10,000 yards of silk by Seller to Buyer. In addition, even though some terms typically found in a contract for the sale of goods (such as delivery obligations, risk of loss, etc.) were not present in this agreement, it is clear that the parties intended to make a contract and there is a reasonably certain basis for determining an appropriate remedy. See Point Four below. Therefore, there is a contract arising from the January 9 telephone call.

Point Two(b) (40%)

The contract arising from the January 9 telephone call is enforceable against Seller. While the contract is subject to the statute of frauds in Article 2 of the UCC, the statute is satisfied here even though there is no writing signed by Seller. This is because both parties are merchants and, accordingly, the signed note sent by Buyer to Seller one day after their agreement and not objected to by Seller within 10 days of receipt is sufficient to satisfy the statute against Seller.

Section 2-201, the UCC Article 2 statute of frauds, provides that a contract for the sale of goods for a price of \$500 or more is not enforceable unless there is a writing signed by the party against whom enforcement is sought that is sufficient to indicate that a contract for sale has been made between the parties. UCC § 2-201(1). In addition, the contract is not enforceable beyond the quantity shown in the writing. *Id.* This is generally interpreted to mean that a writing without a quantity term does not suffice. See, e.g., *id.*, Official Comment 1, paragraph 1. Here, the contract price is well above \$500, so the Article 2 statute of frauds is applicable. The note signed by Buyer is sufficient to indicate that a contract has been made between Buyer and Seller. Even though the note is informal and does not state most of the terms of the contract, it clearly indicates that a contract has been entered into. In addition, the note states the quantity term of the contract: 10,000 yards of silk. Thus, because this note was signed by Buyer, it would be sufficient to enable Seller to enforce the contract against Buyer.

But Seller is not trying to enforce the contract against Buyer. Rather, Buyer is trying to enforce the contract against Seller. UCC § 2-201(1), standing alone, would result in Buyer's being unable to enforce the contract against Seller because there is no writing signed by Seller. But the rule in UCC § 2-201(1) is subject to the other provisions in § 2-201. In particular, UCC § 2-201(2) provides that, between merchants, a writing in confirmation of a contract, sent by one party within a reasonable time and received by the other, that is sufficient to satisfy the statute of frauds as to the sender, is also sufficient against the recipient if the recipient had reason to know of its contents, unless the recipient objects in writing within 10 days of receipt. Here, both parties are "merchants" as that term is defined in UCC § 2-104(1) because they both "deal in goods of the kind"—Seller regularly manufactures and sells bulk silk and Buyer routinely buys this silk for use in its manufacturing business. Thus, the transaction is "between merchants." UCC §§ 2-104(3) and 2-201(2) apply.

Each of the elements of UCC § 2-201(2) is satisfied. First, Buyer's signed note was sent the day after the agreement, and there is nothing in the facts suggesting that one day was not a reasonable time. Second, Seller received Buyer's note. Third, as explained above, the note was sufficient to satisfy the statute of frauds against the sender (Buyer). Fourth, the recipient (Seller) had reason to know of the contents of the note—Seller read the note. Fifth, the facts do not indicate that Seller objected to the contents of the note within 10 days of its receipt. Therefore, the note signed by Buyer is sufficient to satisfy the statute of frauds against Seller as well.

Point Three (20%)

While the parties' agreement was silent as to any requirement to deliver the silk, the parties' prior course of dealing establishes that Seller had an obligation to deliver the silk to Buyer.

Both the oral agreement between the parties and Buyer's note were silent as to delivery obligations. In the absence of agreement to the contrary, UCC § 2-308(a) provides that the place for delivery is the seller's place of business. If this "gap-filling" provision applied, Seller would have no obligation to deliver the silk to Buyer. But UCC §§ 2-202(a) and 1-303(d) provide that the agreement of the parties may be supplemented by the parties' "course of dealing." UCC § 1-303(b) defines "course of dealing" as "a sequence of conduct concerning previous transactions between the parties to a particular transaction that is fairly to be regarded as establishing a common basis of understanding for interpreting their expressions or other conduct." Here, there is such a sequence of conduct concerning prior transactions. The facts state that the parties had engaged in over 250 purchases of silk over the last six years, and in each of these transactions, Seller delivered the silk to Buyer at no extra charge. Thus, this course of dealing, making it clear that delivery of the silk was the parties' common expectation, supplements the oral agreement (which did not indicate whether there was a delivery obligation). Accordingly, Seller had an obligation to deliver the silk to Buyer.

Point Four (25%)

Buyer is entitled to damages of \$20,000 because that is the difference between the cost of its covering purchase of silk from Dealer and the price it would have paid Seller under the contract.

Seller's failure to deliver the silk to Buyer was a breach of its obligations under the contract between them. UCC § 2-711(1) provides that, where the seller fails to make delivery, the buyer may, *inter alia*, "cover" and have its damages measured under UCC § 2-712. Under that section, an aggrieved buyer "may 'cover' by making in good faith and without unreasonable delay any reasonable purchase of . . . goods in substitution for those due from the seller." UCC § 2-712(1). If the buyer does so, it may recover from the seller the difference between the cost of cover and the contract price, together with incidental and consequential damages. UCC § 2-712(2).

Here, the facts state that Buyer made a good-faith and commercially reasonable purchase from Dealer two days after the breach, so each of the elements in UCC § 2-712(1) is satisfied. (Nothing in the facts suggests that two days was an unreasonable delay.) Accordingly, Buyer can recover the difference between the cost of cover (10,000 yards of silk at \$12 per yard, for a total of \$120,000) and the contract price (10,000 yards of silk at \$10 per yard, for a total of \$100,000). Thus, Buyer is entitled to \$20,000 in damages. (Buyer would also be entitled to incidental and consequential damages, but the call directs examinees to assume that there are no incidental or consequential damages. Under UCC § 2-712(2), expenses saved in consequence of Seller's breach must be subtracted from the amount of damages, but the facts do not suggest that any such expenses were saved.)

July 2022
MEE Questions
and Analyses

July 2022 MEE Questions

Evidence

Contracts

Corporations & LLCs/Agency

Trusts/Decedents' Estates

Civil Procedure

Real Property

JULY 2022 MEE
QUESTION 1 – EVIDENCE

Four months ago, Victim was shot and seriously wounded in City. Defendant has been charged with attempted murder. The prosecution's theory is that Victim and Defendant were both members of a criminal street gang called "The Lions," which engages in drug dealing, robbery, and murder in City. The prosecutor alleges that the shooting was the result of a gang dispute.

Defendant has brought a pretrial motion objecting to the prosecutor's introducing the following anticipated evidence:

(A) Testimony by a City detective who will be offered as an expert in gang identification, gang organizational structure, and gang activities generally and as an expert on particular gangs in City. The detective is expected to testify as follows:

I have been a detective on the police force for six years. Throughout that time, my primary assignment has been to investigate gangs and criminal activity in City. I have also worked closely with federal drug and firearm task forces as they relate to gangs. Prior to becoming a detective, I was a corrections officer in charge of the gang unit for City's jail for three years, and my duties included interviewing, investigating, and identifying gang members.

Throughout my career, I have attended training sessions providing education and information on gang structure, membership, and activities. As I've gained experience and knowledge in this area, I've frequently been asked to lead such sessions. I would estimate that I've taught more than 75 such training sessions over the past three years.

Street gangs generally engage in a wide variety of criminal activities. They usually have a clear leadership structure and strict codes of behavior. Absolute loyalty is required and is enforced through violent acts. Members of particular gangs can be identified by clothing, tattoos, language, paperwork, or associations.

I am quite familiar with "The Lions." It is one of City's most violent and feared criminal gangs. Members of The Lions can be identified by tattoos depicting symbols unique to the gang.

(B) Testimony by a former leader of The Lions concerning a photograph of Defendant's tattooed arm. After the photograph is authenticated as a photograph of Defendant's arm, the witness is expected to testify in part as follows:

I am certain that this is a Lions tattoo. I had a similar one removed. You'll notice that it has a shield containing the numbers for the police code for homicide, and Lions' members frequently include police codes in their tattoos to indicate crimes the gang has committed. The tattoo also has a shotgun and sword crossed as an "X," and a lion. Those are symbols frequently used by The Lions. This tattoo indicates to me, based on my experience, that Defendant is a member of The Lions gang.

(C) Testimony by Victim, who is expected to testify for the prosecution in part as follows:

I got into an argument with a gang boss at a meeting of The Lions. I said I wouldn't participate in an attack that was planned on another gang because my cousin was in that gang. The boss looked at Defendant and nodded to him. Next thing I knew, after the meeting, Defendant pulled a gun on me and shot me. I'm sure he did it because of that argument.

The jurisdiction has adopted rules of evidence identical to the Federal Rules of Evidence. Defense counsel's motion raises the following objections to the evidence described above:

1. The detective's anticipated testimony about gang identification, organization, and activities is improper expert testimony.
2. The photograph of Defendant's tattoo and the former gang leader's anticipated testimony about it is inadmissible character evidence.
3. Victim's anticipated testimony that Defendant shot him because of a gang dispute is irrelevant.

How should the trial court rule on each objection? Explain. (Do not address constitutional issues.)

JULY 2022 MEE

QUESTION 2 – CONTRACTS

Five years ago, Seller started a small winery that catered to a regional market. The winery became wildly successful. Two years ago, Seller decided to retire and sell the winery. Seller entered into negotiations with Buyer, who was interested in buying a winery. Seller was proud that the label for her red wines bore her picture so, during the negotiations, she told Buyer that she would not sell him the winery unless he agreed to continue using that label. Seller and Buyer orally agreed that if Seller sold the winery to Buyer, he would continue to use the label for as long as he sold red wines.

Buyer and Seller agreed that Buyer would buy the winery from Seller for a purchase price of \$3 million plus a "fair share" of the profits generated by the winery during the first year after it was acquired by Buyer. While they did not agree on the precise share of the first-year profits that Buyer must pay to Seller, Buyer said that 20% would be fair, while Seller said that 25% would be fair.

Buyer and Seller entered into and signed a lengthy written agreement. It stated that, in exchange for the assets of the winery, Buyer would pay Seller \$3 million at the closing and, 15 months later, a "fair share of the winery's profits" during Buyer's first year of ownership. It also stated that Seller was not permitted to own or operate a winery anywhere in the United States for 10 years after the closing, a term that Seller was happy to accede to because she intended to retire. The agreement did not include any provision about future use of the red wine label with Seller's picture and did not contain an "integration" or "merger" clause.

After Seller transferred ownership of the winery to Buyer, Buyer continued to sell red wines but discontinued using the label with Seller's picture. When Seller complained about this, reminding Buyer of his oral agreement to continue using the label, Buyer said, "The agreement we both signed doesn't say anything about the label."

Fifteen months after the closing, Buyer sent Seller \$10,000, which was equal to 5% of the winery's profits during the first year of his ownership. Seller emailed Buyer, complaining about the low amount of the payment and reminding Buyer that they had both understood that a "fair share" of the first-year profits would be in the 20–25% range. In response, Buyer pointed out that the agreement that they had signed did not say that a "fair share" of the profits would be that high.

Fed up with Buyer, Seller came out of retirement and opened and began operating a winery in another state in the United States far from her original winery.

In litigation between the parties:

1. Is Seller's and Buyer's oral agreement that Buyer would use Seller's picture on red wine labels enforceable even though it was not included in the written agreement? Explain. (Do not discuss any potential statute of frauds issues.)
2. Could Seller introduce evidence of the negotiations about what would constitute a fair share of the winery's first-year profits to help explain the meaning of that term? Explain.

3. Assuming that Buyer is not in breach of any of his obligations under the purchase agreement, would Buyer prevail on a claim that Seller breached her obligations under the agreement by opening her new winery? Explain.

Assume for all questions that, in the jurisdiction whose law governs the dispute, the sale of an ongoing business is governed by the common law of contracts, not Article 2 of the Uniform Commercial Code.

JULY 2022 MEE

QUESTION 3 – CORPORATIONS & AGENCY

Brian, a home builder, and Danielle, a land developer, properly formed a corporation. The articles of incorporation state that the corporation's purpose is to pursue property development opportunities and any other lawful business. Brian owns 20% of the corporation's shares, and Danielle owns 80%. Under their shareholders' agreement, Brian and Danielle serve as directors on the corporation's three-member board of directors, and Danielle selects the third director.

Shortly after the corporation's formation, the corporation (following unanimous board approval) purchased a parcel of land for \$5 million for the purpose of dividing it into residential lots and constructing a single-family home on each lot. The board also decided that (1) Brian would be responsible for the construction of all homes on the parcel, (2) Danielle would be responsible for securing the financing necessary to build the homes, and (3) the proceeds from home sales would be paid to the corporation. After setting a reasonable salary for Brian during the home-construction period, the board agreed to periodically consider whether to issue dividends.

The board unanimously authorized Danielle to hire Carol, a consultant, to negotiate financing agreements on behalf of the corporation with several banks. Danielle asked Carol to act on behalf of the corporation to obtain the loans, and Carol agreed to do so.

The first bank that Carol contacted declined to provide financing to the corporation but offered instead to buy the parcel for \$6 million. Without discussing any of this with any of the corporation's directors, Carol signed a written agreement with the bank on behalf of the corporation to sell the parcel to the bank for \$6 million.

The next day, Carol informed Danielle about the terms of the sale agreement with the bank. Danielle agreed with Carol that the deal was in the corporation's best interest and properly called a special meeting of the board to approve it.

At the special meeting three days later, Carol described to the board the terms of the agreement. Danielle and the third director voted to approve the land sale under the terms of the written agreement signed by Carol. Brian voted against approving the sale. Danielle and the third director then voted to distribute all the sale proceeds to Danielle as a "bonus payment." Brian, who would receive no payment from the sale, properly made a request to see all accounting records related to the purchase and sale of the parcel. But the board refused Brian's request, with Danielle and the third director voting against it.

The corporation was incorporated in a jurisdiction whose corporation statute is modeled on the Model Business Corporation Act (MBCA).

1. Is the corporation bound by the land-sale agreement with the bank signed by Carol? Explain.
2. Was the bonus payment made to Danielle, which was approved by a majority of the board of directors, proper? Explain.
3. Does Brian have sufficient grounds to seek the judicial dissolution of the corporation? Explain.

JULY 2022 MEE

QUESTION 4 – TRUSTS / DECEDENTS' ESTATES

Ten years ago, Arlene Doe, age 34, signed and dated a "Declaration of Trust," the pertinent part of which provided as follows:

I, Arlene Doe, do hereby create the Arlene Doe Trust (AD Trust). I name myself sole Trustee of the trust. I reserve the right to all trust income during my lifetime. Upon my death, all trust assets shall be paid in equal shares to my three nieces Carla, Donna, and Edna. I declare that this trust applies to all assets listed in Schedule A, attached hereto.

In Schedule A, Arlene wrote, "I have not transferred any assets to this trust yet, but I will before I die."

The trust instrument had no provision regarding whether it was revocable or irrevocable.

Four years ago, Arlene bought bonds with her personal funds and revised Schedule A to list them as assets of the trust.

Two years ago, Arlene wrote across the face of the Declaration of Trust for the AD Trust, "This AD Trust is revoked" and "I'm taking back the assets."

One year ago, Arlene gave her friend a package containing a valuable necklace and the bonds. As she handed her friend the package, Arlene said, "This package contains a valuable necklace and bonds. I revoked the AD Trust because I decided that I want my niece Donna to have everything I own except what I'm giving to a worthy cause in my will. Hold this package as trustee for Donna. When Donna reaches age 18, sell the necklace and bonds, use the proceeds to pay for Donna's college education, and then give her what's left over when she reaches age 22." The friend said, "Okay."

Later, Arlene properly executed a will naming a bank as executor of her estate and as trustee of a perpetual trust created under her will. This testamentary trust directed that "all of my worldly goods not otherwise validly disposed of during my life, I leave in trust for the Political Party. I direct the trustee to pay all income from this trust, annually, to the Political Party and not to any other person." The Political Party's exclusive mission is to support candidates for public office who accept its political views.

Last month, Arlene died. At Arlene's death, she owned a bank account with a balance of \$300,000. The bonds in the package given to Arlene's friend were worth \$200,000, and the necklace was worth \$50,000. Arlene was survived by her younger brother Bob, her three nieces Carla, Donna, and Edna (the only children of Arlene's deceased sister), and her nephew Fred (the only child of Arlene's deceased older brother). Donna is 16 years old.

The jurisdiction in which Arlene died has adopted the Uniform Trust Code. It also applies the common law Rule Against Perpetuities. Another statute in this jurisdiction provides, "If a decedent died intestate without a surviving spouse, issue, or parent, the decedent's property is distributed to the issue of his or her parents *per stirpes*."

1. (a) Was the AD Trust validly created, and if so, when was it created? Explain.
(b) Assuming that the AD Trust was validly created, was it effectively revoked? Explain.
2. Was the trust for the benefit of Donna valid? Explain.
3. Was the testamentary trust for the benefit of the Political Party valid? Explain.
4. Assuming that the testamentary trust to Political Party is invalid, to whom should the bank account be distributed? Explain.

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QUESTION 5 – CIVIL PROCEDURE

Developer LLC is a limited liability company organized in State A, with its principal place of business in State A. Its only two members are Amy, a domiciliary of State A, and Barbara, a domiciliary of State B. Amy is the managing member of Developer.

Developer entered into a written construction contract with Builder Co., a State B corporation with its principal place of business in State B. Builder agreed to build an office building for Developer on a vacant lot owned by Developer in State A. Lender Corp., a finance company, agreed to lend Developer up to \$2 million to finance the construction project. Lender is incorporated in State A with its principal place of business in State A.

Lender disbursed \$250,000 of the loan amount to Builder to cover the down payment on the construction contract. The loan agreement between Developer and Lender provided that any funds disbursed by Lender under the loan agreement would be added to Developer's loan balance and repaid, with interest, over a five-year period.

As construction of the office building proceeded, Lender made disbursements to Builder pursuant to the loan agreement between Lender and Developer. But when Builder finished construction of the office building, Lender refused to make the final \$100,000 disbursement to Builder even though Developer had occupied the building and had begun leasing space to tenants. Lender told Developer that it was refusing to authorize the final disbursement because Builder's construction was "substandard." Developer also has not made final payment to Builder.

Builder has sued Lender in federal district court in State A, invoking the court's diversity jurisdiction. Builder's complaint alleges that Lender's withholding of the final payment of \$100,000 violated the loan agreement with Developer. Builder claims to be a third-party beneficiary of Lender's promise to Developer, entitled to payment of \$100,000 from Lender.

Lender has moved to dismiss the action on the ground that Developer is a required party to the action and has not been joined as a defendant.

1. Is Developer a person "required to be joined if feasible" to the *Builder v. Lender* action under Federal Rule of Civil Procedure 19(a)? Explain.
2. Would joinder of Developer deprive the court of subject-matter jurisdiction? Explain.
3. Assuming that Developer cannot be joined, how should the court rule on the motion to dismiss? Explain.

JULY 2022 MEE
QUESTION 6 – REAL PROPERTY

In 2015, Oscar validly conveyed an apartment building that he owned

to my grandson Frank and his heirs so long as at least four apartments in the apartment building are rented to families with incomes below the state median income for a family of their size. If at any time fewer than four apartments are being rented to below-median-income families, the apartment building automatically reverts to Oscar.

In 2017, Oscar died owning the family home. His valid will included the following provisions:

1. I give my family home to my new wife, Wanda, for life, and upon her death to my daughter, Adele, and her heirs.
2. I give the entire residue of my estate to my wife, Wanda.

In 2020, Adele died. Pursuant to her valid will, Adele left her entire estate to Frank.

Before her death, Adele had regularly paid the property taxes on the family home because she believed that Wanda could not afford them. After Adele died, Frank told Wanda that he would not pay the property taxes because "they are your responsibility, Wanda."

Wanda accurately asserts that she cannot afford to pay the \$6,000 annual property tax out of her limited income. Frank accurately observes, however, that if Wanda moved out of the home and rented it to another, she could generate at least \$1,500 per month in rental income, more than enough to pay the property tax.

Until February 1, 2021, Frank had leased four apartments in the building to below-median-income families. On that date he validly and lawfully terminated the leases of all tenants in the building to begin his plan to convert all the apartments in the building to luxury apartments. As a result, beginning February 1, 2021, no apartments in the building were being rented to below-median-income families.

On February 7, 2021, Wanda learned what had happened and immediately told Frank, "I now own the building."

The jurisdiction has adopted the Uniform Statutory Rule Against Perpetuities.

1. As between Wanda and Frank, who is obligated to pay the property taxes on the family home? Explain.
2. Upon conveying the apartment building to Frank, what if any interest did Oscar have in the apartment building, and was that interest valid? Explain.
3. Upon Oscar's death, what if any interest does Wanda have in the apartment building, and is that interest valid? Explain.
4. After February 1, 2021, who owns the apartment building? Explain.

July 2022 MEE Analyses

Evidence

Contracts

Corporations & LLCs/Agency

Trusts/Decedents' Estates

Civil Procedure

Real Property

**JULY 2022 MEE
ANALYSIS 1 – EVIDENCE**

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

EVD (II.A.; II.C., D; V.A.)

ANALYSIS

Legal Problems:

- (1) Is the detective properly qualified as an expert, and if so, is his anticipated testimony properly admitted as expert testimony?
- (2) Is the photograph of Defendant's tattoo and the former gang leader's anticipated testimony about the tattoo inadmissible character evidence or admissible non-character, other act evidence?
- (3) Is Victim's anticipated testimony describing his dispute with a gang boss and the boss's head nod to Defendant relevant to Defendant's motive, intent, and/or identity?

DISCUSSION

Summary

The detective's expert testimony is admissible because (1) the detective is qualified as an expert witness, (2) the detective's testimony will be helpful to the jury, (3) the detective's testimony will be based on sufficient facts, and (4) the detective will reliably apply reliable principles to the facts.

Evidence of the tattoo and the former gang leader's anticipated testimony about the tattoo are inadmissible character evidence if used to demonstrate that Defendant, as a member of a criminal street gang, has a violent and criminal predisposition and thus is more likely to have committed attempted murder. However, if the government offers the evidence as non-character, other act evidence to prove that Defendant is a member of "The Lions" and thus more likely to be the shooter in this case, the court may overrule the objection and admit the photograph of the tattoo and the former gang leader's testimony about it.

Victim's anticipated testimony about Defendant's motive is relevant to establish that Defendant acted with intent. It is also circumstantially relevant to establish Defendant's identity as the perpetrator of the attempted murder.

Point One (35%)

Defense counsel's objection should be overruled and the detective's testimony should be admitted because (1) the detective is qualified as an expert witness, (2) the detective's testimony will be helpful to the trier of fact, (3) the detective's testimony will be based on sufficient facts, and (4) the detective will reliably apply reliable principles to the facts.

The first issue is whether the detective's expert testimony is admissible under Federal Rule of Evidence 702, the rule governing expert opinion testimony. Rule 702 states:

A witness who is qualified as an expert by knowledge, skill, experience, training or education may testify in the form of an opinion or otherwise if:

- (a) the expert's scientific, technical or other specialized knowledge will help the trier of fact to understand the evidence or to determine a fact in issue;
- (b) the testimony is based on sufficient facts or data;
- (c) the testimony is the product of reliable principles and methods; and
- (d) the expert has reliably applied the principles and methods to the facts of the case.

Fed. R. Evid. 702.

First, the detective has sufficient knowledge, experience, and training to testify as an expert witness on the subject of gangs generally and "The Lions" gang specifically. The detective (1) has been a detective for six years, (2) has the primary assignment of investigating gangs, (3) has previously been a corrections officer in charge of the gang unit for three years, (4) has attended training sessions on gangs, (5) has taught 75 training sessions on gangs, (6) has knowledge of how gangs operate, and (7) has specific knowledge of "The Lions" gang. In similar cases, courts have found that this level of knowledge, experience, and training is sufficient to render a law enforcement officer an expert on gangs. *See, e.g., Smith v. Commonwealth*, 454 S.W.3d 283, 285–86 (Ky. 2015).

Second, under Rule 702(a), the detective's testimony will help the trier of fact understand the dynamics of "The Lions" gang. Under Rule 702(a), the question is "whether the untrained layman would be qualified to determine intelligently and to the best possible degree the particular issue without enlightenment from those having a specialized understanding of the subject involved in the dispute." Fed. R. Evid. 702, Adv. Comm. Notes. Courts have found that laypersons are not qualified to understand the inner workings of organized crime and that expert testimony by someone with knowledge of how gangs operate, including the specific gang at issue, is thus helpful to the trier of fact. *See United States v. Rios*, 830 F.3d 403, 413–14 (6th Cir. 2016).

Third, under Rule 702(b), the detective's testimony will be based on sufficient facts or data. The detective (1) has interviewed, investigated, and identified gang members and (2) is quite familiar with "The Lions." Courts have found that this type of knowledge about gangs generally and a particular gang specifically is enough to satisfy Rule 702(b). *See, e.g., Duncan v. City of San Diego*, No. 3:17-cv-00052-BTM-MDD, 2019 WL 1772435, at *2 (S.D. Cal., April 22, 2019).

Fourth, under subsections (c) and (d), the detective will reliably apply reliable principles and methods to the facts of the case. "If the witness is relying solely or primarily on experience, then the witness must explain how that experience leads to the conclusion reached, why that experience is a sufficient basis for the opinion, and how that experience is reliably applied to the facts." Fed. R. Evid., 702 Advisory Comm. Notes to 2000 Amendment. Here, the detective will explain how his experience as a detective and corrections officer leads to the detective's conclusions about gang identification, organization, and activities. Courts have found that this type of explanation is sufficient to satisfy subsections (c) and (d). *See, e.g., United States v. Augustin*, 661 F.3d 1105, 1125–26 (11th Cir. 2011); *United States v. Batts*, 171 Fed. Appx. 977, 983 (4th Cir. 2006).

Point Two (35%)

The photograph of Defendant's tattoo and testimony about it is inadmissible if offered as propensity character evidence but may be admissible to prove Defendant's membership in the gang and motive to harm its enemies.

The second issue is whether the photograph of Defendant's tattoo and the former gang leader's testimony about it is admissible to establish that Defendant was a member of The Lions gang. Federal Rule of Evidence 404(a)(1) states that "[e]vidence of a person's character or character trait is not admissible to prove that on a particular occasion the person acted in accordance with the character or trait." Under this rule, evidence of a defendant's propensity to engage in criminal behavior is inadmissible to establish the defendant's likely conformity with that propensity at the time of the crime charged. Moreover, Rule 403 provides that "[t]he court may exclude relevant evidence if its probative value is substantially outweighed by a danger of one or more of the following: unfair prejudice, confusing the issues, misleading the jury, undue delay, wasting time, or needlessly presenting cumulative evidence."

Courts have held that evidence of a defendant's gang tattoos is inadmissible when used by the prosecution to establish the defendant's gang membership as a means toward establishing the defendant's propensity for committing crimes. When offered for such purposes, such evidence is propensity character evidence under Rule 404(a)(1) and its probative value is substantially outweighed by the danger of unfair prejudice under Rule 403. *See, e.g., United States v. Thomas*, 321 F.3d 627, 631 (7th Cir. 2003) (quoting *United States v. Irvin*, 87 F.3d 860, 865 (7th Cir. 1996) ("[W]e have found tattoos inadmissible when they are only admitted to show membership in a gang, because [of] 'the possibility that a jury will attach a propensity for committing crimes to defendants who are affiliated with gangs or that a jury's negative feelings toward gangs will influence its verdict.'")).

Conversely, Rule 404(b)(2) states that evidence of other crimes, wrongs, or acts "may be admissible for another purpose, such as proving motive, opportunity, intent, preparation, plan, knowledge, identity, absence of mistake, or lack of accident." Courts have held that evidence of a defendant's gang tattoos to establish the defendant's membership in a gang is admissible under Rule 404(b)(2) and Rule 403 to show that the defendant was the member of a joint venture or conspiracy (the gang). *See United States v. Suggs*, 374 F.3d 508, 517 (7th Cir. 2004) ("Tattoos that help to establish gang membership are admissible to support a showing of a joint venture or conspiracy."); *United States v. Lewis*, 910 F.2d 1367, 1372 (7th Cir. 1990) (finding evidence of

the defendant's gang tattoos admissible "to establish a joint venture"). There is also case support for the prosecutor's argument that evidence of gang membership may be relevant and admissible to show motive. See *United States ex rel. Hairston v. Warden*, 597 F.2d 604, 607–08 (7th Cir. 1979) (finding evidence of the defendant's gang membership relevant and admissible to help establish motive for a murder).

If the prosecution offers the tattoo as "other act" evidence under Rule 404(b)(2) to prove Defendant's membership in a particular gang (The Lions), as explained through the former gang leader's trial testimony, such evidence would help to establish Defendant's potential motive as a result of his role in the gang (see Point Three), and his identity as the shooter. In such circumstances, if the Court finds, under Rule 403 that the probative value of the photograph of the tattoo is not substantially outweighed by the danger of unfair prejudice, the court may admit the evidence as other act, non-p propensity identity evidence under Rule 404(b)(2).

Point Three (30%)

Victim's anticipated testimony describing his dispute with a gang boss and the boss's head nod to Defendant is relevant to show that Defendant had the mens rea for attempted murder (intent to kill). It also circumstantially helps prove Defendant's identity as the perpetrator of the attempted murder.

The third issue is whether Victim's anticipated testimony about his dispute with the gang boss and the gang boss's subsequent head nod to Defendant is relevant. "Evidence is relevant if: (a) it has any tendency to make a fact more or less probable than it would be without the evidence; and (b) the fact is of consequence in determining the action." Fed. R. Evid. 401. "Relevant evidence is admissible" unless otherwise inadmissible pursuant to constitutional provisions or some other rule. Fed. R. Evid. 402.

The anticipated evidence helps establish a possible motive for Defendant's alleged violence against Victim: enforcement of gang loyalty or resolution of a gang dispute. Evidence of motive is generally admissible in murder and attempted murder cases because the question of whether the defendant intended to kill the victim is a fact of consequence in determining the action, and the defendant's motive to kill the victim makes this fact more probable. Cf. *State v. Matthews*, 471 N.E.2d 849, 852 (Ohio Ct. App. 1984) ("Motive is generally relevant in all criminal cases since it is assumed that human behavior is prompted by a desire to achieve specific results."). In addition, evidence of motive is circumstantially relevant to prove identity because it has some tendency to make it more probable that Defendant rather than another individual (i.e., someone not in the gang) shot Victim.

[NOTES: (1) Motive is not an element of the crime of attempted murder that must be proven to convict Defendant, so examinees should not receive credit for an answer claiming relevance on the basis that motive is an element of attempted murder. (2) The gang boss's head nod to Defendant is arguably hearsay (a nonverbal assertion made out of court). However, the question asks only whether the testimony about this event *is relevant*, and Defendant has made no hearsay objection. Thus, examinees should not receive credit for discussion of the hearsay issue.]

JULY 2022 MEE
ANALYSIS 2 – CONTRACTS

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

CTR (I.B.; II.E.; III.)

ANALYSIS

Legal Problems:

- (1) Is Buyer bound by his oral agreement to use the label with Seller's picture, even though that agreement did not appear in the subsequent written agreement between the parties?
- (2) May Seller introduce evidence of the discussion and negotiations with Buyer about what would constitute a "fair share" of the winery's first-year profits to help explain the meaning of that term?
- (3) Is Seller's promise not to open another winery for 10 years anywhere in the United States an unreasonable restraint on trade that is unenforceable as a matter of public policy?

DISCUSSION

Summary

The signed agreement to sell the winery did not contain Buyer's oral agreement to continue the use of the label containing the picture of Seller. Under the parol evidence rule, if the signed agreement, which appears to be integrated, is inconsistent with the prior oral agreement, the prior agreement is discharged and, therefore, evidence about that prior agreement would not be admissible. But the signed agreement to sell the winery does not appear to be inconsistent with the oral agreement to continue to use the label. Accordingly, the oral agreement is not discharged (and evidence of it is admissible to supplement the written agreement) unless the writing is completely integrated (adopted as a complete and exclusive statement of the terms of the agreement). Here, while it is a close call, the writing does not appear to be completely integrated.

The signed agreement also included the vague phrase that Buyer would pay Seller a "fair share" of his first year's profits, a term susceptible to a spectrum of meanings. The parol evidence rule does not apply to issues of contract interpretation, and evidence as to the meaning of vague or ambiguous terms can be introduced even if the contract is integrated. Thus, the common understanding of Buyer and Seller that a "fair share" of the winery's first-year profits would be in the 20–25% range can be admitted to explain the intended meaning of that term.

Seller's covenant not to compete, which was national in scope and had a 10-year duration, is likely an unreasonable restraint of trade. The covenant is broader than was necessary to protect Buyer's legitimate business interest in establishing his winery in the regional market, and thus it does not appear to be narrowly tailored to protect this interest. Thus, it is likely that the covenant will be stricken as against public policy.

Point One (40%)

The parol evidence rule probably would not prevent enforcement of Buyer's oral agreement to use the label with Seller's picture. As an integrated agreement, the written agreement would discharge the prior oral agreement to use the label if the written agreement were inconsistent with that oral agreement, but it is not inconsistent with it. If the written agreement is completely integrated, it would discharge the prior oral agreement, but although it is a close call, the written agreement does not appear to be completely integrated.

Generally, under the common law parol evidence rule, a "binding integrated agreement discharges prior agreements to the extent that it is inconsistent with them." Restatement (Second) of Contracts § 213. An integrated agreement is a writing constituting a final expression of one or more of the agreed terms of a contract. *See id.* § 209(1). The parol evidence rule is a rule of substantive contract law (and not evidence law) to determine the impact of a written agreement on prior and contemporaneous related agreements. *See id.* § 213, cmt. a. The rule nonetheless has evidentiary effects. One such effect is that "evidence of prior or contemporaneous agreements or negotiations is not admissible in evidence to contradict a term of the writing" that is a binding integrated agreement. *Id.* § 215. If, however, the integrated agreement is consistent with the prior agreement, evidence of the prior agreement may be admitted unless the integrated agreement is also "completely integrated." *Id.* § 216(1). A written agreement is considered to be integrated if it constitutes a final expression of one or more terms of an agreement and is considered to be completely integrated if the parties adopted the writing as a complete and exclusive statement of their agreement. *See id.* §§ 209(1), 210(1).

Here, there is a prior oral agreement that Buyer would continue to use the label with Seller's picture. There is nothing in the facts, however, to suggest that any of the terms of the written agreement are inconsistent with a promise to use the label. Thus, even though the written agreement is clearly integrated, inasmuch as it constitutes the parties' final expression of many terms, the prior oral agreement remains effective unless the written agreement is completely integrated. This is because a binding, completely integrated agreement discharges prior agreements to the extent that they are within the scope of the completely integrated agreement. *Id.* § 213(2). The absence of a provision in the contract to the effect that it is intended as a complete and exclusive statement of the terms of the parties' agreement (usually referred to as an integration clause or merger clause) is consistent with a conclusion that the parties did not intend that the writing be such a complete and exclusive statement, but it is not determinative.

The document was lengthy and may have been intended by the parties to be complete and exclusive, even without an express integration or merger clause. But it will not be found to be completely integrated if the agreement to use the label with Seller's picture "might naturally have been omitted from [the writing]." *Id.* § 216(2)(b). If the written agreement contained terms about similar matters, such as product labeling and product marketing, it would be harder to conclude

that the agreement to use the label with the picture might naturally be omitted from the writing. The question, however, states that the document did not contain any other provisions relevant to the use of the label. Thus, although the issue is close, a court could conclude in the circumstances that the agreement about the use of the label might naturally have been omitted from their writing, and thus, that the written agreement was not completely integrated.

Accordingly, although a close question, it appears that the written agreement was not completely integrated and therefore did not discharge the prior oral agreement about the use of the label with Seller's picture. Thus, Seller could enforce Buyer's agreement to continue use of the label.

[NOTE: The issue of whether the written agreement is completely integrated is a close one and could be argued either way. Accordingly, the strength of an examinee's analysis on this point is more important than the conclusion reached by the examinee. It should be noted that, although the parol evidence rule is a substantive rule of contract law, it is often phrased in terms of whether evidence of the prior agreement may be used to supplement or contradict the writing. *See, e.g.*, UCC § 2-202. An examinee who frames the analysis in evidentiary terms and otherwise analyzes the question well should receive credit.

Some examinees may note that the parol evidence rule does not exclude evidence that the parties orally agreed that performance of their agreement is subject to the occurrence of a stated condition. This is correct (*see* Restatement (Second) of Contracts § 217) but not apposite. The doctrine primarily applies to situations in which performance of the written agreement is subject to an oral requirement of a condition not within the control of either party. *See id. cmt. a.* Thus, the doctrine applies to the existence of conditions to the parties' obligations under the agreement, not to their agreed obligations themselves. Moreover, the dispute here is not about the existence of the condition (Seller told Buyer that she would not sell him the winery unless he agreed to continue using the label with Seller's picture for red wines) but, rather, about the obligation to which Buyer agreed ("Seller and Buyer orally agreed that if Seller sold the winery to Buyer, he would continue to use the label for as long as he sold red wines.")]

Point Two (30%)

Seller may introduce evidence about the parties' negotiations that demonstrates a common understanding of Buyer and Seller that a "fair share" of the winery's first-year profits would be in the 20–25% range.

Generally, extrinsic evidence may be proffered for the purpose of clarifying a vague or ambiguous term in a written contract. "[A]greements and negotiations prior to or contemporaneous with the adoption of a writing are admissible in evidence to establish . . . the meaning of the writing, whether or not integrated." Restatement (Second) of Contracts § 214(c).

Here, the meaning of "fair share of the winery's profits" in the parties' written agreement is indefinite and vague, susceptible to a spectrum of meanings. Evidence about the parties' negotiations showing the parties had a common understanding that a "fair share" of the first-year profits would be more than 5% of those profits and instead would be in the 20–25% range will help resolve the vagueness of "fair share" and establish that a payment of only 5% of those profits is inconsistent with the meaning given to that term by the parties. The ambiguity in this

case is obvious (patent), and there is no need for examinees to discuss the "plain meaning" or "four corners" rule, which is applied by courts in some states to exclude extrinsic evidence of the parties' intended meaning unless the agreement is ambiguous on its face. *See Greenfield v. Philles Records, Inc.*, 780 N.E.2d 166 (N.Y. 2002).

[NOTE: Some examinees, like some commentators, may describe this point as being a branch of the parol evidence rule. While, strictly speaking, this rule of contract interpretation is distinct from the parol evidence rule, an examinee who labels the analysis of this question as such a branch and otherwise analyzes the question well should receive credit.]

Point Three (30%)

The covenant not to compete appears to be an unreasonable restraint on trade and thus would be unenforceable as a matter of public policy. The restraint's long duration and broad geographic scope appear to be greater than needed to protect Buyer's legitimate business interests.

A promise that unreasonably restrains trade may be unenforceable on grounds of public policy. *See* Restatement (Second) of Contracts § 186(1). Whether a restrictive covenant, including a covenant not to compete, is unreasonable requires a balancing of interests. If the restraint is greater than what is needed to protect a party's legitimate business interest, it violates public policy. *Id.* § 188(1)(a). In deciding whether to enforce a covenant not to compete, the courts generally consider the reasonableness of the covenant's duration and geographic scope. *See, e.g., BDO Seidman v. Hirshberg*, 712 N.E.2d 1220 (N.Y. 1999) (noncompete must be reasonable as to duration and geographic reach, and its restrictions may be no greater than necessary to protect legitimate interests). Generally, covenants not to compete are disfavored, though less so when enforced by the buyer against the seller of a business. *See* Cal. Bus. & Prof. Code §§ 16600, 16601 (invalidating all covenants not to compete, except against equity owners in the sale of a business).

Here, Buyer has a legitimate interest in not having the value of the winery and its good will diminished by Seller's competitive activities. Restatement (Second) of Contracts § 188(2)(a). Buyer has an interest in establishing himself in the business before being subjected to such competition. This interest, however, is limited to the regional market in which the winery has operated. The covenant's national prohibition appears to be unreasonably broad. *See Novelty Bias Bindings Co. v. Shevrin*, 175 N.E.2d 374 (Mass. 1961) (enforcing covenant limited to designated states where company operated and competed). Thus, the covenant would not be enforceable to prevent Seller from opening a winery in another state far away from the original winery.

Further, the covenant's 10-year duration would seem to be overly broad and give Buyer more time than needed to establish himself in the business. *See, e.g., Property Tax Assocs., Inc. v. Staffeldt*, 800 S.W.2d 349, 351 (Tex. App. 1990) (noting that "courts of this state have upheld restrictions ranging from two to five years as reasonable"). According to the facts, Seller had been able to establish her winery business in well under five years.

Although a more precisely tailored covenant not to compete might be viewed as reasonable, such as one limited to less than five years and to the regional market to which the winery catered,

traditionally courts will not rewrite covenants that are unreasonably broad to make them reasonable. See generally *Ferrofluidics Corp. v. Advanced Vacuum Components, Inc.*, 968 F.2d 1463 (1st Cir. 1992) (noting that while some courts take an "all or nothing" approach to noncompete covenants and void the entire covenant if any part is unenforceable, other courts are willing to (1) enforce the reasonable terms of such a clause if the covenant "remains grammatically coherent once its unreasonable provisions are excised" or (2) reform the clause and enforce the covenant to the extent it is reasonable unless the "circumstances indicate bad faith or deliberate overreaching on the part of the [party who would benefit from the covenant]"). And even if the noncompete covenant here were rewritten, it would not prevent Seller from starting another winery in a state far away from the original winery.

[NOTE: There are additional factors, beyond duration and geographic scope, for determining the enforceability of a covenant not to compete. Among these other factors are whether the party sought to be bound might gain a competitive advantage by exploiting confidential information about the other party's operations or trade secrets, or use of sensitive proprietary information such as customer/client lists, business practices, upcoming products, and marketing plans. See *Ticor Title Ins. Co. v. Cohen*, 173 F.3d 63, 70 (2d Cir. 1999). None of these additional interests, however, are mentioned in the facts.]

JULY 2022 MEE
ANALYSIS 3 – CORPORATIONS & AGENCY

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

COR (VI.; VII.; VIII.F.) / AGC (I.; II.)

ANALYSIS

Legal Problems:

- (1) Is a corporation bound when its board of directors ratifies a transaction previously entered into by the corporation's agent acting without authority?
- (2) Is a bonus payment to a majority shareholder proper when it was neither approved by a majority of qualified directors nor fair to the corporation?
- (3) Does a minority shareholder in a close corporation have sufficient grounds to seek judicial dissolution of the corporation when the corporation's majority shareholder (a) takes actions that contravene the corporation's purpose, (b) engages in unfair self-dealing, and (c) refuses to allow the minority shareholder to inspect the corporation's accounting records?

DISCUSSION

Summary

The land-sale agreement signed by Carol is binding on the corporation. Although Carol (agent) originally lacked actual or apparent authority to bind the corporation (principal) to the land-sale agreement, the corporation became bound by the board's subsequent ratification of the agreement at a properly called meeting at which a majority of the directors approved the transaction after full disclosure.

The bonus payment to Danielle was not proper. The payment, a director's conflicting interest transaction, was not properly approved by a majority of qualified directors because Danielle was financially interested in the transaction and thus was not qualified to approve the transaction. Nor is there any indication Danielle would be able to show that the payment was fair to the corporation. Thus, the bonus payment constituted a breach of Danielle's fiduciary duty of loyalty.

It is likely that Brian has sufficient grounds to seek judicial dissolution of the corporation. In this close corporation, the actions by the majority shareholder in disposing of the corporation's primary asset in apparent contravention of the corporation's purpose, in approving the payment of a bonus only to herself, and in voting to deny Brian's access to the corporation's accounting

records likely constitute "oppression" under the MBCA. Thus, Brian likely has sufficient grounds to seek judicial dissolution of the corporation.

[NOTE: The following analysis is based on the Model Business Corporation Act (MBCA), as revised in 2016. The analysis, however, would be the same under the earlier 2005 version and even the original 1984 version of the MBCA. Thirty-one states have modeled their corporate statutes on the MBCA.]

Point One (40%)

The corporation is bound on the land-sale agreement with the bank. Although Carol, as the corporation's agent, did not initially bind the corporation because she lacked actual or apparent authority, the corporation became bound by the subsequent ratification of the agreement by a majority of the directors at a properly called board meeting after full disclosure.

(15%) Agency

Agency is the fiduciary relationship that arises when one person (a "principal") manifests assent to another person (an "agent") that the agent shall act on the principal's behalf and subject to the principal's control, and the agent consents so to act. Restatement (Third) of Agency § 1.01; Restatement (Second) of Agency § 1.

If an agency relationship exists, an agent who makes a contract with a third party on behalf of a disclosed principal binds the principal to the contract if the agent acted with actual or apparent authority. Actual authority may be express or implied. Actual express authority arises where a principal expressly causes an agent to believe that she has been empowered to act on the principal's behalf. Actual implied authority is the authority that an agent has to take actions that are reasonably necessary to carry out the principal's express instructions. Both types of authority focus on communications between the principal and the agent. By contrast, apparent authority exists when a principal's communications to a third party cause the third party to reasonably believe that an agent is authorized to act, even if the principal and the purported agent never so agreed.

Here, a valid agency relationship was created between the corporation and Carol. The corporation (principal), through a unanimous vote of the corporation's board of directors, authorized Danielle to hire Carol as a consultant (agent) to act on its behalf to secure financing agreements. See MBCA § 8.01(b) (providing that "all corporate powers shall be exercised by or under the authority of the board of directors of the corporation").

Despite the existence of an agency relationship between the corporation and Carol, Carol did not bind the corporation to the land-sale agreement with the bank because she lacked authority. Carol lacked actual express authority to make the contract because she was hired to secure financing agreements on behalf of the corporation, not land-sale agreements. Actual implied authority is also absent because selling the land to the bank was not reasonably necessary to carry out Carol's express instructions to secure financing agreements.

Apparent authority was absent because there is no indication that the corporation communicated to the bank in any way that would cause the bank to reasonably believe that Carol was authorized

to contract to sell the corporation's land on its behalf. Nor is there evidence of industry custom or a prior course of dealing between the corporation and the bank that would reasonably suggest that an agent in Carol's position had the power to bind the corporation to a land-sale agreement.

(25%) Ratification

Even when an agent lacks actual or apparent authority to bind the principal, ratification can cure this lack of authority. Ratification is the affirmance of a prior, nonbinding act done by another, whereby the act is given effect as if done by an agent acting with actual authority. § 4.01; Restatement (Second) of Agency § 82. A person ratifies an act by accepting the results of the act with an intent to ratify, and with full knowledge of all the material circumstances surrounding the act.

Here, because Carol lacked actual or apparent authority to enter into the land-sale agreement, the agreement was not binding on the corporation at the time it was entered into. However, after Carol fully disclosed all material terms of the agreement to the directors, a majority of the corporation's directors (Danielle and the third director) at a properly called special meeting expressly accepted the agreement and thus ratified it. See MBCA § 8.22 (special meetings of the board must be preceded by two days' notice). There is no indication that the corporation's articles, bylaws, or shareholders' agreement required unanimous agreement for such a sale. Thus, the action by the majority of the corporation's directors is binding on the corporation. See MBCA § 8.24(a) (board quorum generally consists of a majority of directors); § 8.24(c) (if quorum is present, "affirmative vote of a majority of directors present is the act of the board"). Accordingly, through this board action, the corporation became bound by the agreement to sell the land to the bank pursuant to the terms negotiated by Carol.

Point Two (40%)

The bonus payment to Danielle was not proper. The payment was a director's conflicting interest transaction, and it was not approved by a majority of qualified directors and cannot be shown to be fair to the corporation. Thus, the payment constitutes a breach of Danielle's fiduciary duty of loyalty.

The MBCA defines a "director's conflicting interest transaction" (DCIT) as a transaction effected by the corporation to which a director is a party. MBCA § 8.60(i). Although the common law treated such director self-dealing transactions as null and void, modern courts and statutes will uphold such a transaction if it is properly approved by informed, disinterested directors or shareholders. See MBCA § 8.62(a) (safe harbor for DCIT approved by qualified directors), § 8.63(a) (safe harbor for DCIT approved by qualified shareholders). Absent such approval, the transaction may nonetheless be upheld "if the [conflicted] director shoulders the burden of showing the transaction was fair" to the corporation. See Introductory Note, MBCA Subchapter F: Directors' Conflicting Interest Transactions. Fairness can be shown if the director's self-dealing transaction was "beneficial" to the corporation and "on terms comparable to what might have been obtained in an arm's length transaction." *Official Comment, Fair to the Corporation*, MBCA Subchapter F. The normal presumption under the "business judgment rule" that directors act in the best interests of the corporation does not apply to cases of director self-dealing. See *Official Comment, Note on Directors' Liability*, MBCA § 8.31.

Here, the bonus payment by the corporation only to Danielle constituted a "director's conflicting interest transaction" or a DCIT. *See* MBCA § 8.60(i) (defining DCIT to include any transaction "effected by the corporation . . . to which . . . the director is a party"). The transaction, which was approved only by Danielle and the third director, does not fit the safe harbor for approval by a majority vote (no less than two) of "qualified" directors. MBCA § 8.62(a). Even if the third director was qualified, Danielle was not qualified because of her financial interest in the bonus payment. *See* MBCA § 1.43 (defining "qualified" director as one having no conflicting interest in the transaction and no "material relationship" with a director having such an interest). Thus, the payment was not approved by a majority of qualified directors.

Furthermore, there is no indication that the corporation was benefited by making a bonus payment to only Danielle or that such payment was made on terms comparable to those that would have been obtained in a market transaction. There is no indication that Danielle provided any services that warranted a bonus payment. Nor is there any indication that such bonus payments normally occur in other corporations. In effect, the bonus payment here was undeserved, excessive compensation to the corporation's controlling shareholder. Therefore, Danielle cannot show that the bonus payment was fair to the corporation. MBCA § 8.61(b)(3).

As a result, Danielle violated her fiduciary duty of loyalty both by receiving from the corporation a financial benefit to which she was not entitled and by dealing unfairly with the corporation. *See* MBCA § 8.31(a)(2)(v) (director liable for "receipt of a financial benefit to which the director was not entitled or any other breach of the director's duties to deal fairly with the corporation"); *see also* Official Comment to MBCA § 8.31 (as amended in 2005) [Note on Business Judgment Rule] ("A director is expected to observe an obligation of undivided loyalty to the corporation [as to any] financial benefit to which a director is not properly entitled"). Further, Brian will likely be able to show that the bonus payment, for which the corporation apparently received nothing in return, caused harm to the corporation. *See* MBCA § 8.31(b).

[NOTE: The bonus payment could also be characterized as an illegal distribution, that is, the payment of a dividend not made on a pro rata basis to all shareholders of the same class. *See* MBCA § 1.40 (defining "distribution" as transfer of money or other property "to . . . the benefit of its shareholders" in respect of any of their shares). *See also* MBCA § 14.07(d)(2) (specifying that distributions in dissolution be pro rata); § 6.23 (specifying that share dividends be pro rata). An examinee who concludes that the payment was improper because it was an illegal, non-pro-rata distribution should receive full credit.]

[NOTE: The question asks only whether the bonus payment was proper and does not ask whether Danielle (or even the third director) is also liable to the corporation for this DCIT. Although it might be argued that the third director violated his fiduciary duties by approving the bonus payment to Danielle without reasonably believing it to be in the best interests of the corporation and for lacking objectivity and independence possibly because of the third director's relationship with Danielle, *see* MBCA § 8.31(a)(2)(ii)(A), (2)(iii), the question does not ask for examinees to consider director liability. Similarly, if an examinee identifies this as an improper, non-pro-rata distribution, there is a possibility of recovery from Danielle, although the question does not ask about that. *See* MBCA § 8.32(a) ("director who votes for . . . distribution in excess of what may be authorized . . . is personally liable to the corporation"); § 8.32(b) (director liable

for unlawful distribution entitled to recoupment from shareholder of the amount of unlawful distribution the shareholder accepted).]

Point Three (20%)

It is likely that Brian could seek to have the corporation judicially dissolved. In this close corporation, Brian likely has sufficient grounds to seek the dissolution of the corporation given that the majority shareholder's conduct likely constitutes oppression.

The MBCA, consistent with the approach in most states, gives courts discretion to order the judicial dissolution of a corporation if a shareholder can demonstrate that the majority (or controlling) shareholder is acting in a manner that is "oppressive." MBCA § 14.30(a)(2)(ii). In applying the oppression test, many courts have looked to whether the conduct of the majority shareholders defeats the "reasonable expectations" that the majority knew, or reasonably should have known, were held by the minority shareholders. *See O'Brien v. Pearson*, 868 N.E.2d 118, 126 (Mass. 2007); *Matter of Kemp & Beatley, Inc.*, 473 N.E.2d 1173, 1179 (N.Y. 1984); *accord* California Corp. Code § 1800(b)(5) (court may dissolve corporation when "reasonably necessary" to protect minority shareholders). Courts have justified judicial dissolution because of the reality that there is generally no available market for the sale of shares in a closely held corporation. Without the ability to petition for dissolution, a minority shareholder may be unable to protect his legitimate interests in the corporation.

Here, there were a number of "oppressive" actions by the majority shareholder. First, the ratification (by Danielle and the third director) of the sale of the corporation's only property to the bank frustrated Brian's reasonable expectation of participating in the corporation's development and sale of residential properties. This expectation was based on the board's unanimous decision that the corporation would purchase land for the purpose of residential development, assign Brian the task of building homes on the land, have Brian paid an annual salary for building homes for the corporation, and have Danielle secure financing to build these homes. In short, Brian expected to build homes and to be paid a salary for building the homes, on property acquired by the corporation. There is no indication that Brian expected the corporation to engage in real estate speculation, as happened when Danielle accepted the sale to the bank of the corporation's only property.

Second, Danielle's acceptance of a bonus payment—from which Brian was excluded—constituted unfair self-dealing. *See* Point Two. Courts have regularly cited "freeze outs" (where minority shareholders are excluded from the benefits of the business) as oppressive conduct that justifies judicial dissolution of the corporation. In addition, the MBCA permits judicial dissolution when corporate assets are being "misapplied or wasted," as happened here with the bonus payment to Danielle. *See* MBCA § 14.30(2)(iv).

Third, Danielle's vote (joined in by the third director) refusing to give Brian access to corporate records was in contravention of Brian's right to inspect the corporation's accounting records. *See* MBCA § 16.02(b) ("A shareholder . . . is entitled to inspect . . . accounting records of the corporation . . ."). Courts have also cited the refusal of majority shareholders to provide information to minority shareholders as grounds for granting a petition for judicial dissolution.

Thus, Brian likely has sufficient grounds to seek judicial dissolution of the corporation. Together, the actions by Danielle—that is, the sale of the property, the unfair bonus payment, and the refusal to allow inspection of corporate records—likely would be seen as "genuine abuse" by a controlling shareholder. *See Official Comment*, MBCA § 14.30 (as amended in 2005) (cautioning courts to exercise discretion to grant petition for judicial dissolution on grounds of oppression only in cases of "genuine abuse rather than instances of acceptable tactics in a power struggle for control of a corporation").

[NOTE: An examinee might point out that in a proceeding to dissolve the corporation, one or more of the corporation's shareholders may elect to purchase all the shares owned by the complaining shareholder for their fair value, and if that happens, the court will dismiss the petition to dissolve. MBCA § 14.34. This point should not receive any credit, as the question is not whether the court will dissolve the corporation but whether there are grounds for judicial dissolution.]

JULY 2022 MEE

ANALYSIS 4 – TRUSTS / DECEDENTS' ESTATES

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

TRU (I.B., C.; II.F.) / DEC (I.B.)

ANALYSIS

Legal Problems:

- (1)(a) Was the AD Trust validly created and, if so, when was it created?
- (1)(b) Assuming that the AD Trust was validly created, was it effectively revoked?
- (2) Was the trust for the benefit of Donna valid?
- (3) Was the testamentary trust for the benefit of the Political Party valid?
- (4) Assuming that the testamentary trust to Political Party is invalid, how should the bank account be distributed?

DISCUSSION

Summary

The AD Trust was created when Arlene bought the bonds and amended Schedule A to reflect that they were assets of the trust, not when she signed the "Declaration of Trust." Under the Uniform Trust Code, a trust is revocable unless the trust instrument expressly provides otherwise. Here the trust instrument was silent on the issue of revocability. Thus, it was revocable, and Arlene effectively revoked the AD Trust when she wrote across the trust, "This AD Trust is revoked." Upon revocation of the AD Trust, its assets belonged to Arlene in accordance with her stated intentions.

Arlene's later oral statement with respect to the necklace and bonds delivered to her friend created an enforceable trust. Under the Uniform Trust Code, a writing is not necessary to establish an inter vivos trust of personal property. Arlene expressed the intent to create a trust, specified a trust beneficiary, named a trustee, and transferred the necklace and bonds to her friend as trustee by delivering the package to the friend. At the time Arlene delivered the necklace and bonds to her friend, she owned the necklace and, because the AD trust was revoked, the bonds as well.

A perpetual noncharitable trust must vest within the perpetuities period (lives in being plus 21 years) in a jurisdiction that has the common law Rule Against Perpetuities. A trust for the benefit of a political party is not a charitable trust because it is not for a valid charitable purpose. Thus, this trust is void and unenforceable as it could possibly last longer than the perpetuity period.

Because the testamentary trust is invalid, Arlene's probate estate, consisting of the \$300,000 bank account, passes by partial intestacy. Because this jurisdiction determines intestate shares of the issue of the decedent's parents using the "*per stirpes*" method of distribution, Arlene's brother Bob and her nephew Fred (sole child of a deceased sibling) will each take one-third of her probate estate and her nieces Carla, Donna, and Edna (children of a deceased sibling) will take equal shares of the other third of her probate estate.

Point One(a) (15%)

The AD Trust was validly created when Arlene purchased the bonds and listed them as the trust assets in Schedule A.

A trust is created by, among other things, the "declaration by the owner of property that the owner holds identifiable property as trustee," Unif. Trust Code § 401(2), but only if "(1) the settlor [had] capacity to create a trust, (2) the settlor indicate[d] an intention to create a trust, (3) the trust has a definite beneficiary, (4) the trustee has duties to perform, and (5) the same person is not the sole trustee and sole beneficiary." Unif. Trust Code § 402(a).

Here, there are no facts to suggest that Arlene lacked capacity to create the trust. And, even though Arlene was the sole trustee, by naming herself and others as the beneficiaries, the Declaration met the requirements of § 402(a)(5). The Declaration further met the requirements of § 402(a)(2) by clearly declaring Arlene's intention to create the trust. It also satisfied § 402(a)(4) by expressly imposing the duties of payment and distribution on the trustee. However, no trust was created at the time Arlene signed the Declaration because no assets were then transferred to the trust. Rather, a trust is created when the trust receives the property. *Id.* at § 401(1) & 401 comment. *See also State ex rel. Teague v. Home Indemnity Co.*, 442 S.W.2d 276 (Tenn. Ct. App. 1967). The expressed intention to transfer property to a trust in the future thus does not create a valid trust. But property need not be transferred to the trust contemporaneously with the creation of the trust; "[a] trust created by means of an instrument signed during the settlor's lifetime is not rendered invalid simply because the trust was not created until property was transferred to the trustee at a much later date, including by contract after the settlor's death." Unif. Trust Code § 401 comment. Thus, under the UTC, the AD Trust was created when Arlene bought the bonds and amended Schedule A to indicate that the bonds were an asset of the trust. *See id.*

Point One(b) (10%)

Because the trust instrument did not expressly state that it was irrevocable, Arlene effectively revoked the AD Trust by writing across the face of the Declaration of Trust, "This AD Trust is revoked."

Under the UTC, an inter vivos trust is revocable unless the trust instrument states that the trust is irrevocable. *See* Unif. Trust Code § 602. Here, the AD Trust did not provide that it was irrevocable. Thus, Arlene could revoke the trust at any time.

Section 602 of the Uniform Trust Code further provides that the settlor may revoke a trust by "any . . . method manifesting clear and convincing evidence of the settlor's intent." Here Arlene wrote across the trust: "This AD Trust is revoked." This is sufficient to revoke the trust. Upon

revocation of the trust, the trust assets reverted to Arlene. *See id.* § 602(d) ("Upon revocation of a revocable trust, the trustee shall deliver the trust property as the settlor directs.").

Point Two (25%)

Under the UTC, a trust can be orally created by a transfer of property from the settlor to another person to act as trustee if the oral statement expresses the intention to create a trust and designates one or more beneficiaries of the trust. This occurred here when Arlene gave the package to her friend, designating Donna as the beneficiary. Therefore, the trust was valid.

A trust is established when (1) the settlor has capacity and indicates an intention to create a trust; (2) the same person is not the sole trustee and sole beneficiary; and (3) unless the trust is a charitable trust, the trust has a definite beneficiary. Unif. Trust Code § 402(a). Under § 407, a trust need not be evidenced by a writing but if created orally, "its terms may be established only by clear and convincing evidence."

Here, Arlene transferred the package with the necklace and bonds to her friend designating her as the trustee of the property. Arlene clearly stated her intention to create a trust and named a beneficiary of the trust. The trustee, Arlene's friend, accepted her role as trustee by accepting the package knowing it contained the necklace and bonds and knowing that Arlene gave them to her to act as a trustee for Donna. Unless the friend contradicts the facts as stated (and there is no indication in the problem that she would do so), there should be no evidentiary problem in establishing Arlene's intent under a clear and convincing evidentiary standard.

The trust assets include the necklace and the bonds. Although the bonds were once assets of the AD Trust, when Arlene revoked that trust (see Point One(b)), ownership of the bonds reverted to Arlene. She later transferred the bonds to the oral trust she created on Donna's behalf.

Point Three (25%)

The testamentary trust in favor of the Political Party is not a valid charitable trust because it was not created for a recognized charitable purpose and is therefore void under the common law Rule Against Perpetuities.

A charitable trust may be created for the relief of poverty, the advancement of education or religion, the promotion of health, . . . or other purpose the achievement of which is beneficial to the community. Unif. Trust Code § 405. A charitable trust may last in perpetuity; it is not subject to the Rule Against Perpetuities. Charity thus must be distinguished from acts of liberality or benevolence. "To constitute a charity, the use must be public in nature." *Shenandoah Valley Nat'l Bank v. Taylor*, 63 S.E.2d 786 (Va. 1951) *quoting* Zollman on Charities § 398. It is against public policy to perpetually benefit a political party. Courts have consistently held that a trust to benefit a particular political party is not for a valid charitable purpose. *See Note, Charitable Trusts for Political Purposes*, 37 Va. L. Rev. 988 (1951).

Trusts that are not charitable are subject to the Rule Against Perpetuities in jurisdictions that follow the common law rule. *See* Restatement (Second) of Property (Donative Transfers), Pt. 1, Introductory Note (1981). Here, the trust for the Political Party does not satisfy the requirements for a charitable trust; its sole purpose is to benefit a particular political party. It is thus subject to

the Rule Against Perpetuities as a noncharitable trust. As a perpetual noncharitable trust, it clearly violates the Rule because it does not have any termination date, income is payable in perpetuity to the Political Party, and there is no vesting within the meaning of the Rule within the permissible period of lives in being plus 21 years. It is thus void.

[NOTE: The *cy pres* doctrine allows a court to modify a charitable trust when its particular charitable purpose becomes impracticable, unlawful, or impossible to fulfill. Uniform Trust Code § 413. But the *cy pres* doctrine applies only to charitable trusts, and the trust for the Political Party does not meet the criteria for a charitable trust. Thus, *cy pres* is inapplicable here.

Unlike a charitable trust, which can last in perpetuity, a noncharitable trust with an ascertainable beneficiary, as here, cannot be created to last in perpetuity in a jurisdiction with the common law Rule against Perpetuities. While § 409 of the Uniform Trust Code provides that “[a] trust may be created [and enforced] for a noncharitable purpose *without a definite or definitely ascertainable beneficiary*” for no more than 21 years, the statute is inapplicable here because the Political Party is an ascertainable beneficiary. [Emphasis added].]

Point Four (25%)

Assuming that the testamentary trust to Political Party is invalid, the bank account should be distributed through the probate estate to the issue of Arlene's parents taking *per stirpes*. Thus, Arlene's brother Bob takes one-third of the bank account, her nephew Fred takes one-third, and Donna, Carla, and Edna would take equal shares of the remaining third (i.e., one-ninth each) of the bank account.

The testamentary trust under Arlene's will purportedly disposed of all of Arlene's worldly goods not otherwise validly disposed of during her life. Because this trust is assumed to be invalid, the asset that would have passed to the trust (the \$300,000 bank account in Arlene's probate estate) under her will passes to her heirs as undisposed-of property. Arlene's heirs are the issue of her parents under a *per stirpes* distribution. See Jesse Dukeminier & Stanley Johansen, Wills, Trusts, and Estates 87 (6th ed. 2000). Thus, Arlene's brother Bob takes one-third of the \$300,000 bank account, her nephew Fred takes one-third, and Donna, Carla, and Edna would take equal shares of the remaining third (one-ninth of the probate estate each).

JULY 2022 MEE
ANALYSIS 5 – CIVIL PROCEDURE

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

CIV (I.A.; III.D.; V.A.)

ANALYSIS

Legal Problems:

- (1) Is a nonparty to a lawsuit a "required party" when adjudication of the issues in its absence may impair its interest and subject a party to the suit to the risk of inconsistent obligations?
- (2) May an LLC be joined as a party to a federal lawsuit brought under the court's diversity jurisdiction when members of the LLC have the same citizenship as both the plaintiff and the defendant in the original lawsuit?
- (3) When a required party cannot be joined to a federal lawsuit, should the suit be dismissed if the plaintiff can obtain an adequate remedy in state court through an action that includes the required party?

DISCUSSION

Summary

Developer is a required party to the *Builder v. Lender* lawsuit. Developer has an interest in the disbursement of the funds under its agreement with Lender, and that interest will be impaired if Lender is ordered to pay the funds to Builder. Moreover, Lender runs the risk of facing inconsistent obligations if it is ordered to pay the funds to Builder and Developer subsequently sues Lender to recover the money itself.

However, the joinder of Developer to the lawsuit is not feasible because its joinder would destroy the court's subject-matter jurisdiction. First, joinder would destroy complete diversity. An LLC takes the citizenship of each of its members, and so Developer is a citizen of both State A and State B. Thus, if Developer were joined as a defendant, it would not be diverse from the plaintiff Builder, a State B citizen. If Developer were joined as an involuntary plaintiff, it would not be diverse from Lender, a State A citizen. Second, the court would not have supplemental jurisdiction because the statute does not apply to parties joined under Rule 19.

The court should dismiss the action rather than allowing it to proceed in Developer's absence. A court should proceed in the absence of a required party if it can do so "in equity and good conscience." Here, the facts suggest that the court should dismiss the action. Not only will proceeding be prejudicial to both Developer and Lender, but there is an adequate available alternative for Builder: a suit in a State A state court.

Point One (30%)

If the court were to render a decision in the *Builder v. Lender* action in the absence of Developer, that decision would impair Developer's interests as a practical matter and expose Lender to the risk of inconsistent obligations. Developer is therefore a required party to the *Builder v. Lender* action if its joinder is feasible.

Pursuant to Federal Rule of Civil Procedure 19(a)(1), a person is a required party to a federal action and must be joined (if joinder is feasible) if any of the following is true:

- (A) in that person's absence, the court cannot accord complete relief among existing parties; or
- (B) that person claims an interest relating to the subject of the action and is so situated that disposing of the action in the person's absence may:
 - (i) as a practical matter impair or impede the person's ability to protect the interest; or
 - (ii) leave an existing party subject to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations because of the interest.

Fed. R. Civ. P. 19(a)

Here, Developer is a required party under both prongs of Rule 19(a)(1)(B). In the first place, Developer claims an interest in the loan agreement, which is the subject of Builder's action. If Builder wins the lawsuit against Lender, the result will not bind Developer, but the funds in dispute will be paid to Builder, and Developer will be obligated to pay them back to Lender pursuant to the agreement. While Developer may be able to sue Builder to recover the funds, its ability to protect its interests under the loan agreement will be impaired "as a practical matter" if it is not a party to the suit.

Developer is also a required party because the failure to join Developer as a party leaves Lender "subject to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations." The court could rule that Lender improperly withheld the funds under the loan agreement and order Lender to pay the money to Builder. But if that happened, Developer could then sue Lender in a separate lawsuit for improperly paying the funds to Builder. As Developer would not be a party in the *Builder v. Lender* suit, and thus would not be bound in that suit, Lender would be at risk of being found liable to Developer for the money it paid to Builder.

Pursuant to Rule 19(a), Developer must be joined as a party to the action if it is subject to service of process and if its joinder will not deprive the court of subject-matter jurisdiction. *See* Point Two.

[NOTE: Some examinees may note that Lender could seek to join Developer as a party pursuant to Federal Rule 22 (interpleader). While that is true, the question asks only about Rule 19. In addition, joining Developer through interpleader would not solve the fundamental problem here—that Developer's joinder will destroy diversity. *See* Point Two.]

Point Two (50%)

As an LLC, Developer has the same citizenship as its members: Amy, who is a citizen of State A, and Barbara, who is a citizen of State B. Thus, Developer is not diverse from either Builder or Lender, and so joinder of Developer would deprive the court of subject-matter jurisdiction.

Builder's lawsuit against Lender is based on state law and was filed in federal court based on the court's diversity jurisdiction. 28 U.S.C. § 1332. In an action based on section 1332, there must be complete diversity. That is, each plaintiff in the case must have citizenship different from that of each defendant. *Strawbridge v. Curtiss*, 7 U.S. (3 Cranch) 267 (1806). Further, the amount in controversy must be more than \$75,000.

Here, there is plainly diversity jurisdiction over Builder's suit against Lender. A corporation is a citizen of the state in which it is incorporated and also of the state in which it has its principal place of business. 28 U.S.C. § 1332(c)(1). Here, Builder is both incorporated in State B and has its principal place of business there, so it is a citizen of State B. Lender, on the other hand, is incorporated and has its principal place of business in State A, so it is a citizen of State A. The parties are diverse, and Builder is seeking a recovery of at least \$100,000, which satisfies the amount-in-controversy requirement.

However, adding Developer (an LLC) as a party would destroy diversity. For diversity purposes, an LLC's citizenship is the same as the citizenship of each of its members. *Americold Realty Trust v. Conagra Foods, Inc.*, 577 U.S. 378 (2016). Here, Developer has two members, Amy and Barbara. Because Amy and Barbara are individuals, their citizenship is determined by their domicile. The facts state that Amy is a domiciliary (and thus citizen) of State A and Barbara is a domiciliary (and thus citizen) of State B. Hence, Developer is a citizen of both State A and State B.

If Developer were joined as a defendant to the *Builder v. Lender* lawsuit, its presence would destroy diversity because it, like the plaintiff Builder, is a citizen of State B. If it were joined as an involuntary plaintiff, its presence would still destroy diversity because it, like defendant Lender, is also a citizen of State A.

The diversity problem cannot be avoided by asserting supplemental jurisdiction over a claim by Builder against Developer claiming nonpayment of the \$100,000. The supplemental jurisdiction statute provides that supplemental jurisdiction cannot be asserted with respect to claims against persons joined pursuant to Rule 19 if "exercising supplemental jurisdiction over such claims would be inconsistent with the jurisdictional requirements of section 1332." 28 U.S.C. § 1367(b).

In short, Developer cannot be joined without depriving the court of subject-matter jurisdiction. For that reason, its joinder is not feasible.

Point Three (20%)

Because the federal court cannot join Developer, a necessary party, it should probably dismiss the case. Builder could bring the case in a state court in State A against both Developer and Lender, and a State A court could fashion a remedy that would provide full relief in the matter.

When joinder of a required party is not feasible, the court "must determine whether, in equity and good conscience, the action should proceed among the existing parties or should be dismissed." Fed. R. Civ. P. 19(b). This is a fact-based inquiry, and much is left to the discretion of the district court. The court must consider the plaintiff's interest in having a forum, the defendant's interest in avoiding duplicative litigation and the risk of multiple liability, the interest of the nonjoined party, and the public interest in efficient and complete litigation of controversies. *Provident Tradesmens Bank & Trust Co. v. Patterson*, 390 U.S. 102, 109–111 (1968).

Rule 19 identifies several factors for the court to consider, including the extent of prejudice to the absent party or existing parties if the litigation proceeds, the extent to which the court could mitigate that prejudice by shaping relief, the adequacy of a judgment rendered in the absence of the missing party, and whether the plaintiff would have an adequate remedy if the action were dismissed.

Here, the facts strongly support dismissal of *Builder v. Lender*. The most important consideration is that Builder appears to have a more-than-adequate alternative remedy available: it could file suit against both Developer and Lender in a state court in State A. Both Developer and Lender are State A entities and would be subject to personal jurisdiction in State A. A state court in State A would likely be no less convenient for Builder than the State A federal court in which it has filed its action. There is nothing in the facts to suggest that there is anything preventing Builder from bringing such an action.

Moreover, as discussed in Point One, proceeding with this action in the absence of Developer creates substantial risks of prejudice to both Developer and Lender. While the federal court could provide an adequate remedy to Builder by ordering Lender to pay the money to Builder, there is no obvious way it could protect Developer or protect Lender against the risk of inconsistent liability if it granted such relief. *See, e.g., Republic of the Philippines v. Pimentel*, 553 U.S. 851 (2008) (dismissal is appropriate where a claimant to the money or property under dispute is absent and there is no good way to protect that claimant's interest or shield a party from risk of double liability). There is simply no good reason for the federal court to proceed under these circumstances when a state court action in which all required parties would be present could be pursued by Builder. *Builder v. Lender* should be dismissed.

JULY 2022 MEE
ANALYSIS 6 – REAL PROPERTY

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

RLP (I.A., D.1)

ANALYSIS

Legal Problems:

- (1)(a) What are the interests of Wanda, Adele, and upon Adele's death, Frank, in the family home?
- (1)(b) As between Wanda and Frank, who is obligated to pay the property taxes on the family home?
- (2) Upon conveying the apartment building to Frank, what if any interest did Oscar have in the apartment building, and was that interest valid?
- (3) Upon Oscar's death, what if any interest does Wanda have in the apartment building, and is that interest valid?
- (4) After February 1, 2021, who owns the apartment building?

DISCUSSION

Summary

Wanda has a life estate in the family home. Adele initially had a vested remainder in the home. Adele devised that interest to Frank in her will. As between Wanda, the life tenant, and Frank, the remainderman, the obligation to pay current property taxes is on Wanda because she is the life tenant.

Oscar conveyed the apartment building to Frank. However, Oscar gave Frank an estate that would terminate upon the happening of a limitation, namely Frank's ceasing to rent at least four apartments to low-income tenants. As a result of this conveyance, Oscar retained a reversionary interest in the property.

Oscar's reversionary interest was devisable, and he subsequently devised it to Wanda by his will.

Wanda's reversionary interest is valid under the Uniform Statutory Rule Against Perpetuities because from the moment of its creation in Oscar it was vested, and it did not lose that characterization because it was later bequeathed to Wanda.

When, on February 1, 2021, Frank ceased renting any apartments in the building to below-median-income families, his estate automatically terminated and full title to the building (i.e., a

title free of Frank's interest) automatically returned to Wanda as the devisee of Oscar's retained interest.

Point One (30% total weight)

(a) The interests (estates) of Wanda, Adele, and Frank (10%)

Wanda has a life estate in the family home, and Adele had a vested remainder. When Adele died and devised her interest to Frank, he succeeded to Adele's vested remainder.

Under the terms of Oscar's will, he bequeathed Wanda a life estate in the family home as evidenced by the express direction in his will that she receive the estate in the home "for life." Oscar also provided by his will that upon Wanda's death, the home should pass to Adele. This future interest in Adele (a future interest is not currently possessory) was vested because it was not subject to any conditions. In other words, it did not terminate when Adele predeceased Wanda. And, because Adele's interest was devisable, upon her death it passed to Frank, who currently has a vested remainder in the home. See Sheldon F. Kurtz, Moynihan's Introduction to the Law of Real Property 166 (7th ed. 2020).

(b) Payment of property taxes (20%)

Wanda, as life tenant, must pay the property taxes on the family home.

Under the terms of Oscar's will, Wanda was given a life estate in the family home. As life tenant, Wanda has the exclusive right to use the property during her lifetime, including the right to rent the property to others to generate income. And, as a life tenant, Wanda is also responsible for the payment of all ordinary expenses associated with property ownership, including the payment of current property taxes. Kurtz, *supra*, at 79. "The life tenant must pay the carrying charges on the property to the extent of the gross income, or the fair rental value [of the property] *if the life tenant personally occupies the property.*" (Emphasis added.) *Id.*

Here, the reasonable value of Wanda's life estate in the family home that she occupies is at least \$1,500 per month (the amount she could receive in rent for the house) or \$18,000 annually. The annual amount of \$18,000 is well above the \$6,000 of annual property taxes. Thus, Wanda is subject to the usual rule that property taxes and other carrying charges are the responsibility of the life tenant. *Id.*

It is irrelevant that Adele gratuitously paid the property taxes on the family home during her lifetime. Nothing suggests that Adele's gratuitous behavior was intended to, or did, modify Wanda's obligation as life tenant or impose a legal obligation on Frank to continue Adele's practice.

Point Two (30%)

Under the terms of his conveyance of the apartment building to Frank, Oscar retained an interest in the building known at common law as a "possibility of reverter." A "possibility of reverter" vests at the moment it is created and is not invalidated by the common law or Statutory Rule against Perpetuities.

Oscar's will conveyed the apartment building to Frank "so long as at least four apartments in the apartment building are rented to families with incomes below the state median income for a family of their size. If, at any time, fewer than four apartments are being rented to below-median-income families, the apartment building automatically reverts to Oscar." Because this grant provides that Frank's estate terminates upon the happening of the stated event, Frank's estate is the type known at common law as a "fee simple determinable." The nature of this estate is that it will automatically terminate if the terminating event occurs. Sheldon F. Kurtz, Thomas P. Gallanis & Herbert Hovenkamp, *The Law of Property: An Introductory Survey* 121–22 (7th ed. 2018); *see also* Restatement (Third) of Property: Wills & Other Donative Transfers § 24.3 (characterizing this estate as a "fee simple defeasible" and ascribing to it the same effect as a common law fee simple determinable).

The grant provided that if Frank's interest terminated, the property would revert to Oscar. At common law, Oscar's interest was called a "possibility of reverter." Kurtz et al., at 154. The Third Restatement calls it a "reversion." Restatement (Third) of Property § 25.2. Regardless of terminology, the effect of Oscar's conveyance is that he would become the owner of the apartment building (in fee simple absolute) if the building ceased to be used for low-income rentals (as required by his conveyance to Frank). *See generally* Kurtz et al., *supra*, 44–51, 140–142.

At first blush, Oscar's reversionary interest in the apartment building might appear to violate the common law Rule Against Perpetuities. That is because the condition on the conveyance to Frank (that at least four apartments be rented to low-income tenants) might occur many decades after the conveyance and well beyond the perpetuity period of 21 years after some life in being.

However, the common law Rule was *not* concerned with the untimely taking of *possession* of the property; rather, it was concerned with the untimely "vesting of title" to property. And, because a "possibility of reverter" was considered to be immediately vested from the moment of its creation, it was not subject to the common law Rule Against Perpetuities even though it might become possessory beyond the perpetuity period. *See* Sheldon F. Kurtz, Herbert Hovenkamp & Thomas P. Gallanis, *The Law of Property: An Introductory Survey* 123–24 (6th ed. 2014)

Interests that do not violate the common law Rule Against Perpetuities are not subject to the Uniform Statutory Rule Against Perpetuities and may continue in effect for the length of their term. Thus, because Oscar's interest in the apartment building would be valid under the common law Rule, it remains valid under the Uniform Statutory Rule.

[NOTE: Point Two requires examinees to characterize Oscar's interest and to address its validity.

While Oscar's retained interest could properly be characterized as either a possibility of reverter or a reversion, it cannot be characterized as an executory interest (a common law estate) or as a remainder (under the Restatement (Third) of Property). This is because executory interests or remainders are created in grantees, and Oscar is a grantor.]

Point Three (20%)

Oscar's retained reversionary interest in the apartment building passed to Wanda under the residuary clause of Oscar's will. It is valid under both the common law and Statutory Rule against Perpetuities.

Oscar's reversionary interest in the apartment building was devisable. Thus, when Oscar died, his interest passed to Wanda under the residuary clause of his will. See Sheldon F. Kurtz, Herbert Hovenkamp & Thomas P. Gallanis, *The Law of Property: An Introductory Survey* 44–51, 139–141 (6th ed. 2014).

The interest passing to Wanda under the residuary clause of Oscar's will retains the same characterization as it had in Oscar's hands. In other words, it is a possibility of reverter or, under the Restatement (Third) of Property, a reversion. As such, it is valid under both the common law and Statutory Rule against Perpetuities. Thus, following Oscar's death, Wanda had a valid reversionary interest in the apartment building.

[NOTE: As noted in the analysis, the Restatement (Third) of Property uses different terminology from the common law but retains the same basic principles: Frank's interest in the apartment building would automatically terminate upon the happening of the event stated in the will, and Oscar's reversionary interest is immediately vested and devisable. No distinction should be made between answers based on whether they use the common law or Restatement (Third) terminology.]

Point Three requires examinees to characterize Wanda's interest and to conclude whether it is valid or invalid.]

Point Four (20%)

Frank's interest in the apartment building automatically terminated on February 1, 2021, when he ceased renting any of the apartments to below-median-income families. Title to the building free and clear of Frank's interest automatically reverted to Wanda on that date.

The essential character of a fee simple determinable (or fee simple defeasible, in Restatement (Third) terminology) is that the estate automatically terminates upon the happening of the limitation specified in the words granting the estate. Here, the grant specified that Frank's estate would continue only so long as at least four apartments in the building were rented to below-median-income families. On February 1, 2021, Frank ceased renting any of the apartments to below-median-income families. Thus, on that date Frank's interest in the building automatically terminated.

Upon termination of Frank's interest, title to the building free and clear of Frank's interest reverted to Wanda, who had inherited the possibility of reverter from Oscar. Thus, after February 1, 2021 (when Frank stopped renting to low-income tenants), Wanda owns the building in fee simple or fee simple absolute.

February 2023
MEE Questions
and Analyses

February 2023 MEE Questions

Decedent's Estates

Criminal Law & Procedure

Civil Procedure

Secured Transactions

Real Property

Evidence

FEBRUARY 2023 MEE
QUESTION 1 – DECEDENTS' ESTATES

One year ago, Joan executed a will in which she left her entire estate to her only daughter. At that time, Joan's daughter, Joan's granddaughter (the only child of Joan's daughter), Joan's only son, and Joan's three grandsons (children of her son) were living. Joan's son and her three grandsons had extensive criminal records for theft and burglary.

Joan was not close to her children and grandchildren. She rarely saw any of them, even on holidays, although she regularly sent them birthday cards and inexpensive presents.

Three years ago, Joan's doctor had prescribed her a drug that was known to produce hallucinations in some patients. Joan had difficulties with the drug and began to experience frequent hallucinations leading to her delusion that the male line of her family was "cursed" by Martians. Nonetheless, she continued taking the drug because it was the only medication available to control her medical condition.

When she went to her lawyer to draft her will, she told her lawyer that she wanted to leave all her property to her daughter and nothing to her male line. She explained, "Leaving the males in my family anything valuable would be a complete waste on burglars and thieves."

For the last five years, Joan had regularly had lunch with several friends. All of them were much wealthier than Joan. At these lunches, she often told her friends that she was a "multimillionaire" and owned both a "luxurious" home and a "very expensive" car. They had no reason to doubt Joan's claims because she had never invited them to her home and she took cabs to their lunches. In fact, Joan was never a millionaire, and she never owned either a luxurious home or an expensive automobile. She lived in a modest apartment, and her primary source of income was her Social Security benefits. She monitored her bank account regularly and reconciled her bank statement every month.

One month ago, Joan died, survived by her daughter, her granddaughter, her son, and her three grandsons. At her death, Joan owned no significant assets other than her bank account containing \$100,000.

1. Under the insane-delusion rule, is Joan's will invalid? Explain.
2. Do these facts establish that Joan's will is invalid because she lacked the general mental capacity to execute a will? Explain.
3. Which, if any, of Joan's surviving relatives has standing to contest Joan's will? Explain.

FEBRUARY 2023 MEE
QUESTION 2 – CRIMINAL LAW & PROCEDURE

Homeowner ordered a pizza to be delivered to his house for lunch. When the pizza delivery driver (Driver) arrived, Homeowner invited him to step inside while Homeowner retrieved his wallet.

A minute later, two police officers arrived at Homeowner's house to execute a valid warrant to search the house for counterfeit \$100 bills. Although the warrant did not explicitly authorize a "no-knock" entry, the officers kicked open Homeowner's front door and entered the house without knocking and without announcing their identity and purpose.

One officer detained Homeowner and Driver in the hall near the front door while the second officer began to search the house. The first officer saw a lump in the back pocket of Driver's pants, which she thought could be a handgun. Concerned that Driver might harm her if he had access to a handgun, the officer decided to pat him down. While patting him down, the officer discovered that the lump was not a weapon but a soft object. She could not determine what the object was by patting the outside of Driver's pants, so she reached into his pants pocket and retrieved a plastic bag containing marijuana. Possession of marijuana is a crime in the state. The officer seized the bag of marijuana.

Meanwhile, the second officer, who was searching the house, noticed a desktop computer sitting on Homeowner's kitchen counter. The officer saw a serial number visible on the top of the computer, and she discovered, through a quick search using a law-enforcement app on her cell phone, that the serial number appeared on a list of serial numbers of recently stolen computer equipment. She seized the computer.

In Homeowner's bedroom, on a nightstand next to the bed, the second officer found a two-inch-tall, unlabeled, transparent medicine bottle that contained several pills with no markings on them. She seized the bottle and the pills. Later testing by the police crime lab showed that the pills were illegal narcotics. The second officer completed her search of the house without finding any counterfeit money.

The officers arrested Homeowner and Driver, and the state prosecuted them based upon the items seized in the search. Homeowner and Driver challenged the admission of evidence based only on rights protected by the United States Constitution. Neither Homeowner nor Driver has raised any constitutional objections to their brief detention during the search.

1. Should the officers' entry into the house result in the exclusion of evidence? Explain.
2. Assuming that the officers' entry into the house does not result in the exclusion of evidence, should the following conduct result in the exclusion of evidence?
 - (a) the officer's seizure of the marijuana from Driver
 - (b) the officer's seizure of the computer from Homeowner
 - (c) the officer's seizure of the narcotics from Homeowner

Explain.

FEBRUARY 2023 MEE
QUESTION 3 – CIVIL PROCEDURE

Big City, in State A, and Small Town, in State B, are located 10 miles apart.

A woman and a man were driving in State B when their cars collided with each other. The collision seriously injured the man. Shortly after the collision, the man sued the woman in the federal district court for the District of State B, properly invoking the court's diversity jurisdiction. The woman is a citizen of State A; the man is a citizen of State B. The man's complaint sought damages of \$250,000 and alleged that the woman's negligent driving had caused the accident and his injuries.

The woman immediately contacted her automobile insurance company to notify it about the lawsuit and to ask the company to provide an attorney to represent her in the action and to indemnify her against any liability, as required by the terms of the insurance policy. The insurance company, however, refused to provide an attorney. The insurance company also told the woman that because she had not paid her premiums for several months before the accident, her policy had lapsed and therefore did not cover the accident. The woman insisted that she was current on her payments and that the policy should still be in effect.

The woman then went to the clerk's office for the federal district court for the District of State B, which is located in Small Town. She timely filed an answer to the man's complaint. She simultaneously timely filed a complaint against the insurance company, naming it as a "third-party defendant" in the action pending against her in that court and alleging that the insurance company was obligated under the insurance policy to defend her in the man's suit and to indemnify her if she was found liable to the man. She also obtained from the clerk of court a summons to the insurance company requiring the company to file an answer to the woman's complaint or be subject to a default judgment. She then returned to State A, where she hired a process server. Ten days later, the process server personally delivered the summons and complaint to the president of the insurance company at its headquarters in Big City, State A.

The insurance company does no business in State B and has no facilities in State B.

The insurance company moved to dismiss the complaint against it. The district court granted the motion, ruling that (a) the insurance company "cannot be joined to the suit as a third-party defendant because its presence is unnecessary to resolve the dispute" between the man and the woman and (b) "the court lacks personal jurisdiction over the insurance company because the company lacks sufficient contacts with State B."

1. Do the Federal Rules of Civil Procedure permit the woman to bring the company into the action as a third-party defendant? Explain.
2. Assuming that the Federal Rules of Civil Procedure permit the woman to bring the company into the action, does the court have personal jurisdiction over the company, despite the company's lack of contacts with State B? Explain.

3. Under the Federal Rules of Civil Procedure, what actions, if any, could be taken by the district court to allow the woman to immediately appeal the court's dismissal of her complaint against the insurance company? Should the court take those actions? Explain.

FEBRUARY 2023 MEE
QUESTION 4 – SECURED TRANSACTIONS

Shortly after passing the State X bar examination and being admitted to the bar, a lawyer decided to open her own practice as a sole proprietorship in State X, which is her principal residence. The lawyer wanted a couch for her new office's waiting room and went to a furniture store in State X where she found a couch that she liked. She asked if she could buy the couch on credit, saying, "This is for the waiting room of my new law office." The salesperson responded that the store would sell the couch to her on credit if her obligation to pay was secured by the couch. The lawyer agreed and bought the couch on those terms.

As part of the sale, both the lawyer and the salesperson (who had authority to sign on behalf of the store) signed a "Credit Sales Agreement" that stated that the lawyer granted the store a security interest in the couch (described in the agreement by manufacturer and model number) to secure the lawyer's obligation to pay the purchase price.

On her way out of the store, the lawyer saw a table that she thought would be ideal for her home. She asked the salesperson if she could buy the table on credit, saying, "This would look great in my dining room." This time, the salesperson said, "This is a popular model, so we have a special financing deal. You can get the table on credit and have it delivered tomorrow, but we retain title to the table until you finish paying for it. Does that work for you?" The lawyer said that it worked for her and bought the table on the terms outlined by the salesperson. She signed an agreement that described the table by manufacturer and model number and that stated that the store would retain title to the table until she finished paying for it.

The next day, the store delivered the couch to the lawyer's office and delivered the table to the lawyer's home.

The furniture store in State X did not file a financing statement with respect to either the couch transaction or the table transaction.

Six months later, the lawyer passed the bar examination in State Y, where her parents had a home at which she stayed for a few weeks each year. After being admitted to the State Y bar, the lawyer decided that she wanted to be able to represent clients in State Y while she was staying at her parents' home. The lawyer decided to furnish a room in her parents' home as an office and to buy a desk for the office.

She went to a furniture store in State Y and agreed to buy a desk on credit, with her payment obligation secured by a security interest in the desk. She signed an agreement granting the store a security interest in the desk (described in the agreement by manufacturer and model number). The store immediately filed a financing statement in the State Y central filing office for financing statements. The financing statement listed the lawyer as the debtor, named the furniture store as the secured party, and indicated the desk (described by manufacturer and model number) as the collateral. The store delivered the desk to the lawyer's State Y office the next day. The desk was used by the lawyer only in conjunction with her law practice.

At all relevant times, the lawyer's principal residence was in State X.

1. Does the State X furniture store have an enforceable and perfected security interest in the couch used by the lawyer in her office waiting room in State X? Explain.
2. Does the State X furniture store have an enforceable and perfected security interest in the table used by the lawyer in her dining room in State X? Explain.
3. Does the State Y furniture store have an enforceable and perfected security interest in the desk used by the lawyer in her office in State Y? Explain.

FEBRUARY 2023 MEE
QUESTION 5 – REAL PROPERTY

In 1901, Smith owned a three-acre undeveloped parcel of land in State A. He validly subdivided the parcel into two lots. Both undeveloped lots remained in the Smith family until 2005, when John purchased the lot that comprised the western two acres and Beth purchased the lot that comprised the eastern one acre. Both John and Beth promptly recorded their valid deeds.

In 2009, one of Smith's descendants purported to convey to Wendy by quitclaim deed the entire three-acre parcel that had originally belonged to Smith. The quitclaim deed accurately described the three-acre parcel.

On January 1, 2010, Wendy began to occupy one acre of the three-acre parcel purportedly conveyed to her in 2009, specifically, one acre of John's two-acre lot.

In 2016, John died, survived by Mary, his 12-year-old daughter and sole heir.

On March 1, 2022, Wendy brought a quiet-title action against Mary and Beth, alleging ownership of all three acres by adverse possession.

For the purpose of the action, and to avoid confusion, the trial court labeled each acre of the original three-acre parcel as follows:

- the "Western Acre" (which is the western half of the land described in John's deed);
- the "Central Acre" (which is the other half of the land described in John's deed and which Wendy occupied); and
- the "Eastern Acre" (which is the land described in Beth's deed).

The facts at trial established that (1) the quitclaim deed from Smith's descendant gave Wendy colorable title to the three-acre parcel described in that deed; (2) from 2010 until the end of 2021, Wendy possessed the Central Acre in a manner that was actual, open and notorious, continuous, exclusive, and hostile and under claim of right; (3) Wendy ceased her actual possession of the Central Acre on January 1, 2022; and (4) neither the Western Acre nor the Eastern Acre had ever been possessed by any of its owners or by Wendy.

The state's adverse-possession law provides:

An action to recover title to or possession of real property shall be brought within 10 years after the cause of action accrues. However, if at the time the cause of action accrues, the person entitled to bring that action is under 18 years of age, such person, after the expiration of 10 years from the time the cause of action accrues, may bring the action to recover title or possession within five years after reaching the age of 18.

1. In 2020, did Wendy acquire title by adverse possession to the Central Acre? Explain.
2. Assuming that Wendy acquired title by adverse possession to the Central Acre in 2020,
 - (a) did she also acquire title to the Western Acre in that year? Explain.
 - (b) did she also acquire title to the Eastern Acre in that year? Explain.

FEBRUARY 2023 MEE
QUESTION 6 – EVIDENCE

A woman (Plaintiff) has filed a civil action in the federal district court for State A against her former landlord (Defendant) seeking damages under State A law for invasion of privacy, which in State A requires a finding of intent. The federal court has diversity jurisdiction over the suit and personal jurisdiction over Defendant.

Plaintiff's complaint alleges the following facts:

- 1 While Plaintiff was a college student, she rented an apartment in a building owned and managed by Defendant.
- 2 One day, as Plaintiff dressed after showering, she saw a gleam of light through a small hole in a wall of her bathroom. Then she saw an eye looking through the small hole from the other side. She put on her bathrobe and ran from her apartment into the hall of her apartment building, where she saw Defendant leaving a utility closet that shared a wall with her bathroom. Plaintiff accused Defendant of peeking at her from inside the closet.
- 3 Defendant first told Plaintiff that he had been in the closet "just to put things away" and then said that he would evict her from her apartment if she told anyone "what happened."

Defendant's answer admits the allegations in paragraph 1 but denies the allegations in paragraphs 2 and 3. Defendant's answer alleges that he was inside the closet inspecting a water heater and that, at the time of the incident, he had not known that the hole in the wall existed or looked through it.

The parties have filed pretrial motions to exclude evidence.

Defendant seeks to exclude from evidence statements that he made in court when pleading guilty to a criminal voyeurism charge that was based on the same facts alleged in Plaintiff's complaint. Under questioning by the judge, Defendant admitted that he knew about the hole in the closet and that he had repeatedly used it to spy on Plaintiff while she was dressing. Although Defendant initially pled guilty to the criminal voyeurism charges, he later withdrew his guilty plea. The criminal case against Defendant is still pending.

Defendant also seeks to exclude from evidence deposition testimony of a man who previously rented the same apartment as Plaintiff. The man stated in a deposition taken by Plaintiff that he once confronted Defendant "about the utility closet and his perversion" when he caught Defendant watching him under circumstances nearly identical to those described in Plaintiff's complaint. Defendant and his attorney were present at the man's deposition and had an opportunity to examine him. The man currently lives and works in a jurisdiction hundreds of miles from State A, and he has refused to attend the trial and testify in person despite extensive efforts by Plaintiff to convince him to do so.

Plaintiff plans to testify at the trial. She is now in graduate school. She seeks to exclude any evidence, including testimony, that she plagiarized her college senior thesis and lied about the plagiarism on her recent graduate school application.

How should the court rule on the motion to exclude each of the following?

1. The admissions of Defendant made in connection with the guilty plea he later withdrew. Explain.
2. The deposition testimony of the man who stated that Defendant watched him under similar circumstances to those alleged by Plaintiff. Explain.
3. Evidence that Plaintiff plagiarized her senior thesis in college and lied about it on her graduate school application. Explain.

February 2023 MEE Analyses

Decedent's Estates

Criminal Law & Procedure

Civil Procedure

Secured Transactions

Real Property

Evidence

**FEBRUARY 2023 MEE
ANALYSIS 1 – DECEDENTS' ESTATES**

DEC (II.J.2 & 7)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

This question is designed to test an examinee's knowledge of two of the grounds available to contest a will: insane delusion and lack of general mental capacity. Examinees should be able to articulate the factors supporting these separate grounds and then apply the facts to reach a conclusion as to whether the will can be set aside on either or both grounds. Lastly, the question assesses whether the examinee understands the "financial interest test" that determines who may contest a will.

ANALYSIS

Legal Problems:

- (1) Under the insane-delusion rule, is Joan's will invalid?
- (2) Do these facts establish that Joan's will is invalid because she lacked the general mental capacity to execute a will?
- (3) Which, if any, of Joan's surviving relatives has standing to contest Joan's will?

DISCUSSION

Summary

The facts do not establish that Joan's will is invalid as the product of an insane delusion. Instead, it appears that her decision to disinherit her male line was caused by her rational conclusion that leaving money to the males in her family would be a waste because of their criminal behavior.

Joan's will cannot be successfully contested on the ground that Joan lacked general mental capacity. Joan knew the identity of the persons who were the "natural objects" of her bounty and understood the distributional plan laid out in her will that benefited her daughter and disinherited her male line. Although Joan incorrectly described her assets and their value to her friends, the facts suggest that the misrepresentation was purposeful in order to ingratiate herself with them. Furthermore, Joan regularly monitored her bank account, suggesting that she understood the nature and extent of her property.

Joan's surviving son has standing to contest the will because, if the will were ineffective, he would be the only one of Joan's two heirs (her daughter and son) entitled to a share of Joan's estate larger than that which he would take if the will were valid. No other relative has standing.

Point One (40%)

These facts do not establish that Joan's will is invalid as the product of an insane delusion. Rather, her decision was caused by her rational conclusion that leaving money to the males in her family would be a waste because of their criminal behavior.

A testator's will can be challenged on grounds that at the time the testator executed her will she was under an insane delusion that impacted the disposition being made in the will or, as discussed in Point Two, on the basis that the testator lacked so-called general mental capacity.

"A delusion is a false conception of reality. . . . An insane delusion . . . is one to which the testator adheres against all evidence and reason to the contrary." Jesse Dukeminier, Robert H. Sitkoff and James Lindgren, *Wills, Trusts & Estates* 168 (8th ed. 2009). If the testator's alleged delusion has some rational basis, courts typically do not find the delusion to be insane. *See id.* And, in many states, the testator must have some symptoms of a mental disorder, such as delusions or hallucinations, before a court will find that he or she suffered from an insane delusion. In addition, a will can be set aside because of an insane delusion only if the will "is a product of the insane delusion." William M. McGovern, Sheldon F. Kurtz, David M. English & Thomas P. Gallanis, *Wills, Trusts and Estates Including Taxation & Future Interests* 216–17 (5th ed. 2017). Thus, if the testator had other grounds for writing the will as she did, it will not be set aside. *Id.*

Here, Joan experienced frequent hallucinations as a side effect of taking a prescribed drug. These hallucinations caused Joan to have a delusion that her male line was "cursed" by Martians. But the facts do not establish that Joan's decision to disinherit her male line at the time she executed her will was caused by her delusion. Rather, she communicated to her lawyer only that "leaving the males in my family anything valuable would be a complete waste on burglars and thieves." Thus, the challenge will not succeed. *See* Uniform Probate Code § 3-407 (contestants of will have burden of proving lack of testamentary intent or capacity).

Point Two (40%)

Joan's will cannot be successfully contested on the basis that she lacked general mental capacity at the time the will was executed.

To execute a valid will, a testator must have general mental capacity at the time the will is executed. A mental illness or cognitive impairment does not preclude a finding that a testator has capacity, and a will contestant bears the burden of proving incapacity. *See generally* Unif. Prob. Code § 3-407.

To have the requisite mental capacity to execute a will, a testator, at the time of signing the will, must understand

1. the nature and extent of his/her property,
2. the persons who are the "natural objects" of his/her bounty,
3. the disposition being made of his/her property in the will, and
4. the relationship of the preceding three elements to one another to form an orderly disposition of the property.

Dukeminier et al., *supra*, at 159.

There is some evidence that Joan did not know the nature and extent of her property. Joan did regularly misrepresent the value of her assets and her wealth and told her friends that she had assets (a "very expensive" car and a "luxurious" home) that she did not own. On the other hand, Joan regularly reviewed and reconciled her bank statement, suggesting that she did know the value of her financial assets. And several facts (the greater wealth of the friends to whom Joan made the misrepresentations, Joan's failure to invite these friends to her apartment, and her use of cabs to get to the group's meetings) support the argument that Joan's misrepresentations were intentional and designed to hide her comparative lack of wealth and to ingratiate herself with her friends.

Here, there is clear evidence that Joan knew the identity of the natural objects of her bounty and the disposition of her property in the will. The natural objects of a testator's bounty are those persons having the highest moral claims to a testator's property. Typically, these are family members such as spouses, siblings, and descendants. Joan regularly sent cards and inexpensive presents to her children and grandchildren. Moreover, she knew about her male descendants; in fact, knowledge of her sons' and grandsons' criminal misconduct appears to have been the basis of Joan's testamentary disposition solely in favor of her daughter.

Joan's statements to her lawyer that she was leaving nothing to her male descendants and everything to her daughter and that leaving her property to her male line would be a waste because of their criminal behavior also made it clear that Joan understood that leaving everything to her daughter would disinherit her son and grandsons.

Finally, Joan could consider each of the above factors in her head and understand how they related to one another.

Given these facts, when Joan signed her will she had general mental capacity.

Point Three (20%)

Joan's son has standing to contest Joan's will because he would be financially better off if the will were ineffective to dispose of Joan's estate.

Only persons with a financial interest in a successful will contest have standing to contest a will. McGovern et al., *supra*, at 546. A person with a financial interest is one who would take a greater portion of the decedent's estate if the contest succeeded than he or she would take if the contest failed.

Here, Joan's son has standing to contest Joan's will because, as one of Joan's two heirs (the son and the daughter), he would take one-half of Joan's estate through intestate succession if the will were struck down.

No one else has standing. Joan's daughter would not financially benefit from a will contest, as she would take only half of the estate through intestate succession and takes all under the will. Joan's grandsons and granddaughter would take nothing through intestate succession because their parents survive Joan.

FEBRUARY 2023 MEE
ANALYSIS 2 – CRIMINAL LAW & PROCEDURE

CRM (V.A.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

This item tests an examinee's ability to apply basic rules of Fourth Amendment law to a fact pattern involving the execution of a search warrant at a suspect's home. The item covers the knock-and-announce rule, the plain-view doctrine, the *Terry* doctrine, and the scope of the exclusionary rule.

ANALYSIS

Legal Problems:

- (1)(a) Do police officers who execute a search warrant for counterfeit money violate the Fourth Amendment when they kick in the front door of a suspect's house without knocking and announcing their purpose?
- (1)(b) Does the execution of a search warrant in violation of the "knock and announce" rule trigger the exclusionary rule?
- (2) Did the police officer's patdown of Driver and seizure of the marijuana found in Driver's pocket violate the Fourth Amendment and trigger application of the exclusionary rule?
- (3) Can stolen property that a police officer discovers in plain view during a search for other evidence be seized by the officer and used as evidence against the person whose home was being searched even though the officer had to verify that the property was stolen by checking its serial number against police records?
- (4) Should the illegal narcotics seized during the search be excluded from evidence when the government could not determine that the substances were narcotics without laboratory testing?

DISCUSSION

Summary

Although entering Homeowner's house to execute the search warrant was not itself unconstitutional, the police officers violated Homeowner's constitutional rights by entering

without first knocking and announcing their identity and purpose. Knocking and announcing is required prior to entering a house to execute a search warrant absent exigent circumstances, which were not present here. Thus, despite having a valid warrant, the officers violated the Fourth Amendment requirement of reasonable searches by failing to knock and announce themselves. However, the exclusionary rule is typically not available as a remedy for knock-and-announce rule violations. Thus, none of the seized evidence (illegal marijuana, stolen computer, illegal narcotics) should be excluded on this basis.

The officer's patdown of Driver was constitutional, but the subsequent seizure of the plastic bag containing marijuana was unconstitutional. Under *Terry v. Ohio*, a police officer who has reasonable suspicion that a person is armed may perform a patdown of the person's outer clothing to search for weapons. Here, the initial patdown was constitutionally permissible because the officer initially believed that Driver had concealed a weapon in his back pocket. However, once the officer no longer had reason to suspect that Driver was armed, she had no constitutional authority to remove the soft item from Driver's pocket. The marijuana should therefore be excluded from evidence at Driver's trial.

A court should not exclude the computer from evidence. Its seizure did not violate Homeowner's Fourth Amendment rights because the computer was found in plain view and the officer could determine that it was stolen by checking its serial number (also in plain view) against stolen property lists and without touching or moving the computer.

The officer's seizure of the small pill bottle and its contents was unconstitutional. First, the warrant authorized a search for counterfeit bills, not for narcotics. Second, although the bottle was in plain view, the "plain view" doctrine did not justify its seizure. The bottle itself was not contraband, nor was it obvious that it contained evidence of criminal activity, given that the identity of the pills in the bottle as narcotics could not be ascertained without a seizure of the bottle and testing of its contents. The pills should therefore be excluded from evidence at Homeowner's trial.

Point One(a) (15%)

The police officers violated Homeowner's Fourth Amendment rights by failing to "knock and announce" before entering the house.

Absent exigent circumstances, knocking and announcing is required prior to the execution of a search warrant for a home. See *Wilson v. Arkansas*, 514 U.S. 927 (1995) (holding that the Fourth Amendment incorporates the common law "knock and announce" rule). Here, the warrant authorized a search for counterfeit bills. There are no facts suggesting any exigent circumstances, such as a threat of physical resistance by Homeowner or the rapid destruction of evidence if the officers announced their presence. Thus, the officers' failure to knock and announce violated the Fourth Amendment.

[NOTE: Although it is not relevant to the facts of this case, when issuing a warrant, a judge might determine that there are exigent circumstances justifying entry without knocking or announcing. Such a warrant is known as a "no knock" warrant. See *Richards v. Wisconsin*, 520 U.S. 385 (1997).]

Point One(b) (15%)

The officers' failure to "knock and announce" before entry does not trigger the exclusionary rule.

The century-old exclusionary rule prevents the prosecution from introducing evidence obtained through a violation of the defendant's Fourth Amendment rights. *Weeks v. United States*, 232 U.S. 383 (1914). The exclusionary rule applies to the states. *Mapp v. Ohio*, 367 U.S. 643 (1961). *Mapp* stands for the proposition that the prosecutor, in a state or federal action, cannot use evidence obtained by police as a result of a violation of a suspect's Fourth Amendment protections. Until recently, a finding of a Fourth Amendment violation always triggered application of the exclusionary rule.

However, in *Hudson v. Michigan*, 547 U.S. 586 (2006), the Court clarified that a violation of the "knock and announce" rule is a violation of the Fourth Amendment that does not trigger the exclusion of evidence. In *Hudson*, the Court held that if police have a valid warrant to search a home, but they enter in a way that violates their constitutional duty to knock and announce, the evidence uncovered during the search can nonetheless be used in a criminal prosecution. *Id.*

Here, because the officers' entry violated Homeowner's Fourth Amendment rights only because they failed to knock and announce, the exclusionary rule does not apply. Thus, none of the seized evidence (illegal marijuana, computer, illegal narcotics) should be excluded on that basis.

[NOTE: States are divided as to whether, under the reasonable search provisions of their own constitutions, the exclusion of evidence results from the entering officers' failure to knock and announce their presence, with some states following *Hudson's* reasoning and others not. But because the call asks specifically whether police conduct violated rights under the United States Constitution, an answer that discusses state constitutional protections is beyond the scope of the question.]

Point Two (25%)

Although the patdown of Driver was constitutionally permissible, the subsequent seizure of the marijuana was not. Therefore, the marijuana should be excluded from evidence.

Under *Terry v. Ohio*, 392 U.S. 1 (1968), a police officer who has reasonable suspicion that a person is armed may perform a patdown of the person's outer clothing for weapons. In justifying the intrusion, "the police officer must be able to point to specific and articulable facts which, taken together with rational inferences from those facts, reasonably warrant that intrusion." *Id.* at 21. The sole purpose of a *Terry* patdown is the protection of the officer and the public. An officer conducting a *Terry* patdown must limit his or her intrusion to discover only weapons, rather than other evidence of a crime. If the officer feels something that might be a weapon, he may remove it. Otherwise, the officer cannot proceed with any further search unless he feels something in the course of the patdown that he immediately knows is contraband. *Minnesota v. Dickerson*, 508 U.S. 366 (1993) (noting that there could be a "plain feel" doctrine for items touched during a lawful patdown that can be tactilely identified as contraband).

Here, when the patdown began the officer was acting within constitutional limits. She had reasonable suspicion that Driver was armed because she had seen a lump in his back pants

pocket that she thought could be a weapon. However, the patdown became unconstitutional after the officer ascertained through the patdown that what she thought was a weapon in Driver's pants pocket was instead a small soft item. At this point, having ascertained that the lump was not a weapon, and with no prior knowledge that the item was contraband, the officer was required to terminate her search. Her removal of the item from Driver's pocket was therefore unreasonable. Because the search was unreasonable, the marijuana should be excluded.

Point Three (20%)

A court should not exclude the computer from evidence. Its seizure did not violate Homeowner's Fourth Amendment rights because the computer and its serial number were in plain view and the fact that the computer was stolen could be ascertained without a search.

The "plain view" exception to the warrant requirement allows a police officer who is executing a search warrant to seize any incriminating evidence observed during the course of that lawful search. *Arizona v. Hicks*, 480 U.S. 321 (1987). To seize an item under the "plain view" doctrine, the item must not only be in plain view, but its incriminating character must be readily apparent. *Horton v. California*, 496 U.S. 128, 136 (1990). Thus, evidence is found in plain view when the police officer (1) has lawful authority to be in the location where the item is found and (2) has probable cause to believe that the item is evidence related to criminal activity without performing any additional search of the item. *Hicks*, 480 U.S. 321. Here, the officer was lawfully in Homeowner's home at the time she observed the computer. The computer was found in plain view sitting on Homeowner's kitchen counter, and its serial number was clearly visible without moving the computer. The officer immediately and readily determined the incriminating nature of the computer by using an app on her cell phone, which indicated that the serial number appeared on a list of recently stolen computer equipment. An individual has no reasonable expectations of privacy in items left in the plain view of police officers with legal authority to be on the premises. *Id.* Accordingly, because the incriminating nature of the computer was observable to the officer without any additional search of the item, a court should reject Homeowner's argument and admit the computer into evidence.

Point Four (25%)

The court should exclude from evidence the illegal narcotics found in the clear medicine bottle because the officer's seizure of the bottle and its contents violated Homeowner's Fourth Amendment rights.

All warrants must comply with the Fourth Amendment's particularity clause, which requires that warrants "particularly describe" the "things to be seized." The particularity of a warrant is evaluated based on the time it was issued and the information that the police officers who secured the warrant provided (or should have provided) to the issuing judicial officer. *Maryland v. Garrison*, 480 U.S. 79, 85 (1987). The requirement of particularity serves to limit police discretion, giving the warrant-executing police officer authority to search only for those things the magistrate has authorized.

Here, the seizure of the medicine bottle violated the Fourth Amendment because the search warrant was for counterfeit bills, and bills could not be concealed inside a two-inch-tall, clear medicine bottle.

The plain-view doctrine does not apply here to justify the seizure. Unlike the computer, the illegal nature of the pills could not be immediately determined at the time of the search but required subsequent lab testing. *Hicks*, 480 U.S. 321, 326–27; *Horton*, 496 U.S. 128, 136–37 (if police lack probable cause to believe object in plain view is contraband, the plain-view doctrine cannot justify its seizure). The incriminating nature of the pill bottle and pills was not "readily apparent," and the officer acted improperly by seizing them.

**FEBRUARY 2023 MEE
ANALYSIS 3 – CIVIL PROCEDURE**

CIV (I.B.; III.D.; VII.B.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

This question is designed to test an examinee's understanding of three important rules/principles of federal civil procedure. First, it tests knowledge of the right of a defendant to bring a third party into a pending action when the third party may be required to indemnify the defendant. Second, it tests knowledge of how a federal district court may obtain personal jurisdiction over a defendant and, in particular, the rule that a federal court may sometimes exercise personal jurisdiction over a defendant located within 100 miles of the court even if the defendant is in a different state. Finally, it tests knowledge of when the dismissal of a third-party complaint can immediately be appealed in an action in which other claims remain unresolved.

ANALYSIS

Legal Problems:

- (1) Do the Federal Rules of Civil Procedure permit the woman to bring the company into the action as a third-party defendant?
- (2) Assuming that the Federal Rules of Civil Procedure permit the woman to bring the company into the action, does the court have personal jurisdiction over the company despite the company's lack of contacts with State B?
- (3)(a) Under the Federal Rules of Civil Procedure, what actions, if any, could be taken by the district court to allow the woman to immediately appeal the court's dismissal of her complaint against the insurance company?
- (3)(b) Should the court take those actions?

DISCUSSION

Summary

Under Rule 14(a) of the Federal Rules of Civil Procedure, a defendant may bring a third party into a pending lawsuit when that third party "is or may be liable to [the defendant] for all or part of the claim against [the defendant]." Here, the woman properly brought the insurance company into the action by having a summons and third-party complaint served on the company. The

woman's third-party complaint properly alleged that the insurance company would be liable to indemnify her if she were found liable to the man.

A federal district court can exercise personal jurisdiction over a third-party defendant who is brought into a lawsuit pursuant to Rule 14(a) if the defendant has minimum contacts with the State in which the court sits *or* if the defendant is served with process at a place within a judicial district of the United States and within 100 miles of the place where the summons was issued. Here, even though the insurance company did not have minimum contacts with State B sufficient to exercise general personal jurisdiction, it was served within a judicial district of the United States and in a location that was no more than 10 miles from the district court clerk's office, in Small Town, that issued the summons. While Rule 4(k) ("the 100-mile-bulge rule") provides the most direct resolution of whether the court can exercise personal jurisdiction on these facts, the court also has specific personal jurisdiction over the defendant insurance company because the insurance policy imposed a "duty to defend" the woman and because it can be reasonably implied from the facts that the insurance company's territorial coverage included State B, where the accident occurred.

Appeals from the decisions of federal district courts ordinarily can be taken only when there is a "final judgment" in a case. But immediate appeals of decisions are permitted under Rule 54(b) if the district court "expressly determines that there is no just reason for delay" of the appeal and "direct[s] entry of a final judgment," thus certifying the matter as appropriate for appeal. Thus the woman can appeal the court's dismissal of her third-party complaint for lack of personal jurisdiction if the district court expressly determines that there is no just reason for delay and enters a final judgment on her claim. The court should make such a determination because (1) the court's dismissal of her third-party claim is a final decision on her claim against the insurance company, (2) she would be prejudiced by a delay in her appeal, and (3) allowing the appeal would not disrupt the ongoing proceedings in the court below or otherwise disturb the orderly administration of judicial business.

Point One (40%)

The insurance company can be brought into the action as a third-party defendant because the insurance company may be liable to the woman for all or part of the claim against her.

Rule 14(a) of the Federal Rules of Civil Procedure provides that a defendant in a lawsuit may bring a third party into the lawsuit when that third party "is or may be liable to [the defendant] for all or part of the claim against [the defendant]." Here, the woman claims that the insurance company is required to defend her and is obligated to indemnify her if she is found liable to the man.

Here, the insurance policy requires the insurance company to pay any money judgment awarded against the woman—thus to indemnify her for any liability she might face. However, the insurance company owes this obligation to the woman only if the insurance policy was in force at the time of the accident. Although the insurance company denies that the policy was in force at the time of the accident, that is a factual issue to be decided in the course of the proceeding because the facts bearing on whether the policy was in force are disputed. *See Total Med. Mgmt., Inc. v. United States*, 29 Fed. Cl. 296, 298 (1993) ("Depending on the circumstances, the

existence of a contract may be a question of fact, a question of law, or a mixed question of fact and law.""). Thus the third-party complaint against the insurance company is based on a claim that the insurance company "may be liable" to the woman "for all or part of the claim" against her, and that is what Rule 14 requires.

In addition, Rule 14 requires a defendant to bring a third party into the case by filing and serving a "third-party complaint" against that party. Here, the manner in which the woman brought the insurance company into the case was consistent with Rule 14. After filing a third-party complaint with the court, the woman (as third-party plaintiff) properly had a summons and the third-party complaint served on the insurance company (as third-party defendant).

[NOTE: The fact that the case between the man and the woman could be decided without the insurance company's presence does not matter to the question of third-party joinder. Although Federal Rule 19 requires the joinder of so-called "necessary parties," the fact that a party's presence is not necessary does not preclude the party from being added to the action under a different rule—here, Rule 14. There is a time limit for the filing of the third-party complaint without leave of the court (no more than 14 days after service of the original answer), but the woman clearly met that limit as she filed the third-party complaint simultaneously with her answer.

Examinees might additionally discuss whether the woman may join a duty-to-defend claim, accurately recognizing that joinder of that claim to her indemnification claim would be allowed under Rule 18. But this additional analysis about joinder of claims is unnecessary to answer the specific call, which asks only whether the Federal Rules of Civil Procedure permit the woman to bring the company into the lawsuit as a third-party defendant.]

[NOTE: The question asks only whether the Federal Rules of Civil Procedure permit the woman to bring the insurance company into the action as a third-party defendant. Thus, an answer that applies Rule 14 to conclude that the woman may implead the insurance company is a complete answer. Some examinees may go on to discuss whether the federal court would have subject-matter jurisdiction over the woman's claim against the insurance company. Because the woman and the insurance company are not diverse, jurisdiction over her claim against the insurance company would need to be based on the court's supplemental jurisdiction.]

Point Two (30%)

Because the insurance company was served within 100 miles of the district in which the action was pending, the federal district court has personal jurisdiction over the company even if the company lacks minimum contacts with State B.

Rule 4(k) of the Federal Rules of Civil Procedure establishes the "territorial limits of effective service" of process for federal district courts. That Rule provides, in relevant part, as follows:

(1) In General. Serving a summons . . . establishes personal jurisdiction over a defendant:

(A) who is subject to the jurisdiction of a court of general jurisdiction in the state where the district court is located;

- (B) who is a party joined under Rule 14 or 19 and is served within a judicial district of the United States and not more than 100 miles from where the summons was issued; or
- (C) when authorized by a federal statute.

Here, Rule 4(k)(1)(B) gives the federal court personal jurisdiction over the insurance company. First, the insurance company was joined to the case "under Rule 14." Second, the insurance company was served in Big City, State A, which is certainly within some judicial district of the United States. Third, the summons was issued by the federal district court clerk in Small Town, State B, which is 10 miles from Big City; thus, the insurance company was served "not more than 100 miles from where the summons was issued."

The fact that the insurance company apparently has no contacts with State B does not matter under Rule 4(k)(1)(B).

[NOTE #1: Judicial opinions uniformly treat the exercise of personal jurisdiction under Rule 4(k)(1)(B) as constitutional, although they differ on their rationale. Some say that federal court jurisdiction is constitutional as long as the defendant has minimum contacts with the area "comprising the state where the district court is located plus the 100-mile bulge." *See Wright & Miller, Federal Practice and Procedure* § 1127, at 202–05. Others focus on the defendant's contacts with the state in which service occurs. *Id.* Still others suggest that federal courts can exercise jurisdiction over a defendant with minimum contacts with the nation, regardless of its contacts with the state in which the court is located. *Id.* Whichever approach is taken, the exercise of personal jurisdiction would be constitutional in this case.]

[NOTE #2: In the absence of the 100-mile-bulge rule, personal jurisdiction over the insurance company would depend on whether the company "is subject to the jurisdiction of a court of general jurisdiction" in State B. *See Fed.R.Civ.P. 4(k)(1)(A)*. That inquiry would turn on (1) whether the State B long-arm statute provides for jurisdiction and (2) whether the exercise of jurisdiction would be constitutional (i.e., satisfy the minimum contacts/due process test for personal jurisdiction).

As the facts do not provide any information about State B's long-arm statute, the focus in such an analysis would be on the constitutional issue. Here, the insurance company has no contacts with State B that would warrant an exercise of general jurisdiction over it. Accordingly, the question is whether the defendant insurance company has a sufficient connection to State B for State B to exercise "specific personal jurisdiction" over it.

The insurance company's connections with State B are that (1) the woman was involved in an accident in State B, (2) she was allegedly insured by insurance company, and (3) the insurance policy included both a "duty to defend" the woman and a duty to indemnify her. Moreover, the facts strongly imply that the insurance policy's territorial coverage included State B.

Several courts have held on similar facts that a state where an automobile accident occurred can exercise specific personal jurisdiction over an insurer if an accident within the state was within the insurance policy's territorial scope of coverage, even if the insurer had no other contacts with the state. *See McGow v. McCurry*, 412 F.3d 1207 (11th Cir. 2005), *abrogated on other grounds by Diamond Crystal Brands, Inc. v. Food Movers Int'l, Inc.*, 593 F.3d 1249 (11th Cir. 2010),

cert. denied, 131 S. Ct. 158 (2010); *Rossman v. State Farm Mut. Auto. Ins. Co.*, 832 F.2d 282 (4th Cir. 1987); *Eli Lilly and Co. v. Home Ins. Co.*, 794 F.2d 710 (D.C. Cir. 1986); *Farmers Ins. Exchange v. Portage La Prairie Mut. Ins. Co.*, 907 F.2d 911 (9th Cir. 1990).

These decisions reason that the inclusion of a state within the scope of an insurance policy's coverage is a "contact" between the insurance company and the state; that the occurrence of a covered accident in the state is also a contact between the company and the state; that the insurance company could reasonably anticipate being haled into the state of the accident by virtue of its agreement to defend the insured; and that an insurance company that agrees to insure against accidents in a state has purposefully availed itself of the privilege of conducting business in the forum.

Thus, a factual and legal analysis of this sort should receive some credit, although the 100-mile-bulge rule provides a more straightforward basis upon which the court can exercise personal jurisdiction.]

Point Three(a) (20%)

An immediate appeal is possible if the court determines there is no just reason for delay and enters a final judgment.

In most circumstances, appeals from the decisions of federal district courts can only be taken when there is a "final judgment" in the case—when all the issues in the suit have been finally determined by the district court. *See* 28 U.S.C. § 1291. Because the final-judgment rule proved particularly difficult to apply in cases with multiple claims and multiple parties, "Federal Rule of Civil Procedure 54(b) was adopted to identify those orders in a complex litigation setting that determine finally the rights of a given party or a single claim so that an immediate appeal may be allowed." Jack H. Friedenthal, Mary Kay Kane, Arthur R. Miller & Adam N. Steinman, *Civil Procedure* 595 (6th ed. 2021).

Rule 54(b) provides that a district court decision adjudicating fewer than all the claims in an action is not final unless the district court "expressly determines that there is no just reason for delay" of any appeal and "direct[s] entry of a final judgment," thus certifying the matter as appropriate for appeal. Wright, Miller & Kane, *Federal Practice and Procedure: Judgment* § 2655. If the district court takes those actions, then an appellate court will treat the district court's order as satisfying the final judgment rule unless the appellate court concludes that the district court improperly applied Rule 54(b). *See id.*

The determination of whether "there is no just reason for delay" is a matter that rests with the discretion of the district judge, who is charged with "weighing the overall policy against piecemeal appeals against whatever exigencies the case at hand may present." *Panichella v. Pennsylvania Railroad Co.*, 252 F.2d 452, 455 (3d Cir. 1958). Factors to consider include the length of time it may take to resolve the case as a whole, the hardship to the party if an immediate appeal is not allowed, the relationship between the two claims, and whether the appeal can be fairly decided even though other issues in the case have not been adjudicated. *See generally* Wright et al., *supra*, § 2659.

Courts have held that insurance-coverage disputes are generally distinct enough to be certified as final judgments under Rule 54(b), thus permitting immediate appellate review. *See Eberts v. Goderstad*, 569 F.3d 757, 760 (7th Cir. 2009). When the insurance-coverage dispute includes the question of the insurance company's duty to defend, courts have stated that equitable considerations weigh in favor of Rule 54(b) certification and of staying the pending proceeding because, if the trial court's decision on insurance coverage is in error, the insured party would have to incur the expenses of defending the action without the benefit of litigation insurance. *See New York v. Amro Realty Corp.*, 745 F. Supp. 832, 840 (N.D.N.Y.1990).

Point Three(b) (10%)

On these facts, the district court should, sua sponte or upon request of the woman, enter a Rule 54(b) order authorizing the woman to pursue an immediate appeal.

This is a case that involves multiple parties who raise multiple claims that, although related, have different factual and legal predicates. The man claims a right to recover in tort from the woman. The woman claims, in turn, a right to be defended and indemnified by the insurance company. The man is seeking to hold the woman liable in tort for her allegedly negligent driving. The woman is seeking to enforce her right to be defended and indemnified against that tort claim under an allegedly valid insurance policy.

The district court's order dismissing the woman's third-party complaint against the insurance company for lack of personal jurisdiction is a final decision on that claim for purposes of this case. As long as that decision stands, the woman will not be able to have the insurance company pay for her defense of the lawsuit or seek indemnification from the insurance company if she is adjudged liable. Insofar as her claim against the insurance company is concerned, the case by the woman is at an end. *See generally* Wright, Miller & Cooper, Federal Practice and Procedure: Jurisdiction and Related Matters § 3914.6 (dismissals without prejudice, including dismissals for lack of jurisdiction, are appealable as final judgments).

Thus, the district court should conclude that there is "no just reason for delay" of the woman's appeal of the court's decision that it lacks personal jurisdiction over the insurance company.

Not allowing such an appeal would be unfair to the woman, who would otherwise be forced to wait to appeal this question until the man's suit against her had concluded, at which point she would have lost the benefit of the insurance company's contractual obligation to defend her.

Although the woman theoretically could pursue her insurance-coverage claim against the insurance company in another court with jurisdiction, that would be inconvenient for her and could cause her to incur substantially greater expense. By contrast, she has a strong interest in an immediate resolution of the question of whether the insurance company is obligated to pay for her defense. Although the man might want his lawsuit against the woman to proceed without delay, equitable considerations weigh in favor of the court's staying the proceedings and certifying for appeal the question of whether the court has personal jurisdiction over the insurance company. This would allow the court to more expeditiously resolve the question of whether the insurance company has a duty to defend the woman in the man's lawsuit against her. If she must wait to appeal the insurance-coverage question until the man's lawsuit against her is

resolved, she will lose the right to have the insurance company defend her. Thus, the district court should certify for appeal under Rule 54(b) its dismissal of the woman's third-party complaint against the insurance company.

[NOTE: The question expressly asks whether the Federal Rules of Civil Procedure provide any means to authorize the woman to file an immediate appeal. It is true that there are other available means for appealing non-final judgments by federal district courts such as the “collateral order” doctrine or 28 U.S.C. § 1292, which allows immediate appeal from certain interlocutory orders of the district court. However, not only does the question ask specifically about the Federal Rules of Civil Procedure, nothing in the facts supports application of the collateral order doctrine or of 28 USC § 1292.]

FEBRUARY 2023 MEE
ANALYSIS 4 – SECURED TRANSACTIONS

SEC (I.B.; II.B. & D.; III.B.; IV.B.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

This question is intended to test knowledge of the basic elements of enforceability and perfection of security interests as well as choice-of-law principals regarding perfection of a security interest.

ANALYSIS

Legal Problems:

- (1) Does the State X furniture store have an enforceable and perfected security interest in the couch used by the lawyer in her office waiting room in State X?
- (2) Does the State X furniture store have an enforceable and perfected security interest in the table used by the lawyer in her dining room in State X?
- (3) Does the State Y furniture store have an enforceable and perfected security interest in the desk used by the lawyer in her office in State Y?

DISCUSSION

Summary

The State X furniture store has an enforceable security interest in the couch used by the lawyer in her office waiting room in State X, but the security interest is not perfected because the store neither filed a financing statement with respect to the security interest nor retained possession of the couch.

The State X furniture store has a security interest in the table used by the lawyer in her dining room in State X because the store's retention of title to the table constitutes a security interest. The security interest is enforceable and is perfected even though no financing statement was filed because the security interest is a purchase-money security interest in consumer goods and is thereby perfected without the filing of a financing statement.

The State Y furniture store has an enforceable security interest in the desk used by the lawyer in her office in State Y, but the security interest is not perfected by the filing in State Y because State Y is not the lawyer's principal residence.

Point One (25%)

The State X furniture store has an enforceable security interest in the couch used by the lawyer for her office waiting room in State X, but the security interest is not perfected because the store neither filed a financing statement with respect to the security interest nor retained possession of the couch.

A security interest is perfected if it has attached and if the applicable additional requirements for perfection are met. UCC § 9-308(a). A security interest attaches when the security interest becomes enforceable unless an agreement expressly postpones the time of attachment. UCC § 9-203(a). Here, there was no agreement postponing the time of attachment, so the State X furniture store's security interest attached when (and if) it became enforceable.

A security interest becomes enforceable when each of three requirements has been satisfied. First, "value" must be given. UCC § 9-203(b)(1). Here, the furniture store's transfer of the couch to the lawyer constituted value. *See* UCC § 1-204. Second, the debtor must have rights in the collateral (or the power to transfer rights). UCC § 9-203(b)(2). Here, the debtor (the lawyer) bought the couch and thus had rights in it. Third, either the debtor must have authenticated a security agreement containing a description of the collateral or the collateral must be in possession of the secured party. UCC § 9-203(b)(3)(A)–(B). (There are two other substitutes for an authenticated security agreement in UCC § 9-203(b)(3), but they are not germane here.) In this case, the Credit Sales Agreement constitutes an authenticated (i.e., signed or its electronic equivalent; *see* UCC § 9-102(a)(7)) security agreement (i.e., an agreement creating or providing for a security interest; *see* UCC § 9-102(a)(74)), and it contains a description of the collateral. Therefore, the security interest of the State X furniture store is enforceable and has attached.

An attached security interest is perfected only if a financing statement has been filed with respect to it or an exception applies. UCC § 9-310(a). Here, no financing statement has been filed. The only relevant exception would apply if the secured party (the State X furniture store) had possession of the couch, but it does not have possession of it; rather, the couch is in the possession of the lawyer. Accordingly, the security interest of the State X furniture store in the couch used by the lawyer in her State X waiting room is not perfected.

[NOTE: An examinee might note that a purchase-money security interest in consumer goods perfects automatically upon attachment. That statement is true but is irrelevant for this problem. While the security interest is a purchase-money security interest (see analysis in Point Two(b)), the collateral is not consumer goods because the lawyer does not use the couch for personal, family, or household purposes.]

Point Two(a) (15%)

The State X furniture store has a security interest in the table used by the lawyer in her dining room in State X because the store's retention of title to the table constitutes a security interest.

A "security interest" is "an interest in personal property . . . which secures payment or performance of an obligation." UCC § 1-201(b)(35). Inasmuch as the retained interest of the State X furniture store in the table used by the lawyer in her dining room serves to secure her obligation to pay the purchase price, that interest qualifies as a security interest. Moreover, the

UCC explicitly provides that "[a]ny retention or reservation by the seller of the title (property) in goods shipped or delivered to the buyer is limited in effect to a reservation of a security interest." UCC § 2-401(1). *See also* UCC § 1-201(b)(35) (stating that "The retention or reservation of title by a seller of goods notwithstanding shipment or delivery to the buyer under Section 2-401 is limited in effect to a reservation of a 'security interest.'"). These UCC provisions describe the facts in this case—the State X furniture store entered into a transaction under which it delivered the table to the lawyer while purporting to retain title in itself until payment was made. Accordingly, the State X furniture store has a security interest in the table used by the lawyer in her dining room.

Point Two(b) (30%)

The security interest of the State X furniture store in the table used by the lawyer in her dining room in State X is enforceable and has attached. It is perfected even though no financing statement was filed because the security interest is a purchase-money security interest in consumer goods and is perfected upon attachment without the filing of a financing statement.

A security interest is perfected "if it has attached" and if the applicable additional requirements for perfection are met. UCC § 9-308(a). A security interest attaches when the security interest becomes enforceable unless an agreement expressly postpones the time of attachment. UCC § 9-203(a). Here, there was no agreement postponing the time of attachment, so the State X furniture store's security interest attached when (and if) it became enforceable.

A security interest becomes enforceable when each of three requirements has been satisfied. First, "value" must be given. UCC § 9-203(b)(1). Here, the furniture store's transfer of the table to the lawyer constituted value. *See* UCC § 1-204. Second, the debtor must have rights in the collateral (or the power to transfer rights). UCC § 9-203(b)(2). Here, the debtor (the lawyer) bought the table and thus had rights in it. Third, either the debtor must have authenticated a security agreement containing a description of the collateral or the collateral must be in possession of the secured party. UCC § 9-203(b)(3)(A)–(B). (There are two other substitutes for an authenticated security agreement in § 9-203(b)(3), but they are not germane here.) In this case, the agreement stating that the store would retain title to the table until the lawyer finished paying for it constitutes a "security agreement" because it creates or provides for a security interest. UCC § 9-102(a)(74). The security agreement described the table and was authenticated by the lawyer, so the third requirement was satisfied. Therefore, the security interest of the State X furniture store in the table used by the lawyer in her dining room is enforceable and has attached.

An attached security interest is perfected only if a financing statement has been filed with respect to it or an exception applies. UCC § 9-308. Here, no financing statement has been filed, but an exception applies. UCC § 9-309(1) provides that a purchase-money security interest in consumer goods perfects when it attaches, without the need for the filing of a financing statement. *See also* UCC §§ 9-308(a) and 9-310(b)(2). The security interest of the State X furniture store in the table used by the lawyer in her dining room is a purchase-money security interest because the lawyer's obligation was incurred as part of the price of the table (a "purchase-money obligation"; *see* UCC § 9-103(a)(2)) and the table secures that obligation (and thus is "purchase-money collateral"; *see* UCC § 9-103(a)(1)). UCC § 9-103(b). The dining room table constitutes "consumer goods"

because that table, unlike the waiting room couch (and the office desk), is used for personal, family, or household purposes. UCC § 9-102(a)(23). Thus, the State X furniture store's security interest is a purchase-money security interest in consumer goods and is perfected even though no financing statement was filed.

Point Three (30%)

The State Y furniture store has a security interest in the desk used by the lawyer in her office in State Y, but the security interest is not perfected by the filing in State Y because State Y is not the lawyer's principal residence.

The security interest of the State Y furniture store in the desk used in the State Y office is enforceable and has attached for the same reasons described in Point One with respect to the couch used in the State X waiting room.

An attached security interest is perfected only if a financing statement has been filed with respect to it or an exception applies. UCC § 9-310(a). Here, a financing statement was filed in the State Y central filing office for financing statements. However, the law governing perfection of this security interest is the law of State X. This is because the law governing a non-possessory security interest in goods is the law of the jurisdiction in which the debtor is located. UCC § 9-301(1). Although the desk is located in State Y, the debtor (the lawyer) is located in State X because the statute provides that a debtor who is an individual is located at the individual's principal residence. UCC § 9-307(b)(1). The lawyer's principal residence is in State X so, for purposes of the rule in UCC § 9-301, the lawyer is located in State X and therefore State X law applies to perfection of the security interest in the desk. Thus, for the security interest to be perfected, the financing statement would have to have been filed in the State X filing office under State X law rather than in the State Y filing office under State Y law. Accordingly, the security interest of the State Y furniture store will be perfected only if an exception to the filing requirement is applicable. No exception is applicable under these facts.

[NOTE: An examinee might note that a purchase-money security interest in consumer goods perfects automatically upon attachment. That statement is true but is irrelevant for this problem. While the security interest of the State Y furniture store is a purchase-money security interest (see analysis in Point Two(b)), the collateral is not consumer goods because the lawyer does not use the desk for personal, family, or household purposes.]

**FEBRUARY 2023 MEE
ANALYSIS 5 – REAL PROPERTY**

RLP (V.A.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

This question seeks to test the examinee's knowledge of basic principles of the law of adverse possession including tacking, tolling for disabilities, and the necessity of having a cause of action for possession for the statute of limitations to run.

ANALYSIS

Legal Problems:

- (1) In 2020, did Wendy acquire title by adverse possession to the Central Acre?
- (2) Assuming that Wendy did acquire title by adverse possession to the Central Acre in 2020, did she also acquire title to the Western Acre in that year?
- (3) Assuming that Wendy did acquire title by adverse possession to the Central Acre in 2020, did she also acquire title to the Eastern Acre in that year?

DISCUSSION

Summary

In 2020, Wendy acquired title by adverse possession to the Central Acre because for the entire 10-year statutory period she was in actual, open and notorious, continuous, and exclusive possession of the Central Acre in a manner that was hostile and under claim of right. The 10-year statute of limitations against Wendy started running on January 1, 2010, when she entered the Central Acre. It ran continuously for the entire statutory period, even though during that time the Central Acre was owned by John for only six years and by Mary for only four years because John's and Mary's respective causes of action for possession are tacked to each other as Mary is John's heir. Furthermore, it is irrelevant that Mary was only 12 years old when she inherited that running cause of action against Wendy because minority status to toll the running of the statute was required to exist on January 1, 2010, when Wendy entered the Central Acre, and John, who then had the cause of action, was an adult at that time. It is also irrelevant that the continuity of possession was broken on January 1, 2022, because by that time Wendy had already acquired a title by adverse possession to the Central Acre.

In 2020, under the doctrine of constructive adverse possession, Wendy also acquired title to the Western Acre. Under that doctrine, an adverse possessor adversely acquires title to land not actually possessed if the possessor entered under a colorable instrument, as here, describing both the land possessed and adjacent land owned by the same owner that was not actually possessed. Both the Central and Western Acres were owned by John. Thus, Wendy acquired title to both acres in 2020.

Although Wendy had colorable title to all three acres in 2010 and acquired title to the Central and Western Acres in 2020, she did not acquire title to the Eastern Acre by adverse possession. While the Eastern Acre was covered by the quitclaim deed from Smith's descendant to Wendy, it was not owned by John when Wendy entered the Central Acre. Rather, it was owned by Beth. Because Wendy did not possess any land owned by Beth, the 10-year statute of limitations did not run against Beth, and therefore Wendy did not acquire title to the Eastern Acre by adverse possession.

Point One (65% total weight)

Wendy acquired title to the Central Acre by adverse possession in 2020.

Principles of Adverse Possession (15%)

To acquire title by adverse possession, a possessor must wrongfully enter the land of another triggering a cause of action for possession by the true owner of the land. Once the cause of action accrues, the wrongdoer's possession must be actual, open and notorious, continuous, exclusive, and hostile and under claim of right for the entire statutory period over which the true owner could have sued. If the true owner fails to sue by the end of the statutory period, the statute of limitations runs on that suit, with the consequence that the possessor acquires a title by adverse possession good against all the world including the true owner who failed to timely sue.

Here Wendy (the adverse possessor) possessed the Central Acre in a manner that was actual, open and notorious, continuous, exclusive, and hostile and under claim of right from 2010 to 2022, more than the statutory 10-year period. Thus, the only potential impediments to Wendy's acquiring a title by adverse possession are that (1) neither John nor Mary had a cause of action for the full 10 years, (2) Mary was a minor in 2016 when she inherited the cause of action from John, and (3) Wendy ceased being in possession of the Central Acre on January 1, 2022. None of these factors, however, are sufficient to conclude that Wendy did not acquire title by adverse possession to the Central Acre.

Tacking (15%)

For the purpose of determining whether the adverse-possession statutory period has run when successive owners of property are in privity with one another, the time period for bringing an action against a wrongdoer in possession is determined by adding together the time each owner had to bring the action. Sheldon F. Kurtz, Thomas P. Gallanis & Herbert Hovenkamp, *The Law of Property, An Introductory Survey* § 4.6 at 73 (7th ed. 2018). This principle is called tacking. Among other things, privity exists when the second person inherited the land owned by the first person. *Id.* Here John had a cause of action against Wendy to recover the title or possession of the Central Acre for six years beginning in 2010 when Wendy entered the Central Acre, and

Mary, John's sole heir, had a cause of action against Wendy for four years beginning in 2016. While neither of them had a cause of action against Wendy for 10 years, because Mary inherited the Central Acre from John, the times each could have sued Wendy (6 and 4 years respectively) are aggregated for the purpose of determining whether the 10-year period has run. Here it did.

Disability (30%)

Here the governing statute provides that if, at the time the cause of action for possession accrues, the holder of the cause of action is a minor, the time to bring the cause of action against the possessor is extended by such period as the statute provides. This concept is known as "tolling." (While not relevant here, many states also allow tolling if the holder of the cause of action is mentally incompetent or imprisoned.) In common with the law of other states, here tolling applies only if the person who had the cause of action when the adverse possessor first entered the land at issue was a minor at that time. Tolling does not apply if, after the possessor wrongfully enters the land, a person who is a minor succeeds to the cause of action, as occurred here in 2016. Thus, the fact that Mary was a minor when she acquired the cause of action is irrelevant in determining whether the 10-year statute has run. *Id.* at 74. *See also* Dale A. Whitman, Ann M. Burkhardt, R. Wilson Freyermuth & Troy A. Rule, *The Law of Property* at 748–49 (4th ed. 2019).

Continuity (5%)

To acquire title by adverse possession, the possessor must have been in continuous possession for the statutory period. Once the statutory period has run, the possessor acquires a fee simple title. That adverse possession title is not derived from the former owner(s) who were adversely possessed; it begins a new chain of title. Whitman et al., *supra*, at 748. Thus, Wendy's wrongful possession ripened into a fee simple on January 1, 2020. The facts state that between January 1, 2010, and January 1, 2020, Wendy's possession was continuous. For adverse possession purposes, that is the only period to which the continuity requirement applies. The fact that Wendy ceased to occupy the Central Acre after she acquired a fee simple title to it is therefore irrelevant. *Id.* at 754–55.

Point Two (30%)

Most likely, Wendy acquired title to the Western Acre under the doctrine of constructive adverse possession because John (and later Mary) owned both the Central Acre and the Western Acre.

While ordinarily a possessor cannot acquire a title by adverse possession unless the possessor goes into actual possession of land, there is an important exception. It is known as the doctrine of "constructive adverse possession." If a possessor enters under a "colorable" document but only takes possession of a portion of the entire area described in the document, the possessor may claim any additional portion of the entire area described in the document if (a) the area of the additional portion is reasonable in size, (b) the additional portion is adjacent to the portion of the area actually possessed, and (c) the portion possessed and the portion not possessed are owned by the same person. *See* Whitman et al., *supra*, at 750–51; Kurtz et al., *supra*, at 98.

Here, Wendy went into actual possession of the Central Acre, which was owned by John. Wendy did not take actual possession of the Western Acre. However, because the Western Acre was part

of the land conveyed to Wendy by a colorable instrument and Wendy went into actual possession of only a portion of the land described by that instrument, she can claim the Western Acre by constructive adverse possession if the Western Acre is reasonable in size. The Western Acre constituted 50% of the two acres owned by John, creating a fact question to be determined by the court as to whether the area described in the document is reasonable in size under the reasonableness requirement.

[NOTE: Most likely a court would find that the Western Acre is reasonable in size and quiet title to it in Wendy. However, an argument could be made that the Western Acre is unreasonable in size. If a court were to adopt that conclusion, Wendy would not acquire title by constructive adverse possession to the Western Acre.]

Point Three (5%)

Wendy did not acquire a title by adverse possession to the Eastern Acre because the Eastern Acre was owned by Beth, and not by John or Mary.

The doctrine of constructive adverse possession does not apply with respect to land adjacent to the possessed land if the adjacent land was owned by a person who did not have a cause of action for possession against the adverse possessor of land which the adverse possessor actually possessed. Kurtz et al., *supra*, at 100. Here Wendy actually possessed the Central Acre. But Beth had no cause of action against Wendy to recover the Central Acre, as it was owned successively by John and then Mary, and Beth had no cause of action against Wendy for possession of the Eastern Acre because that land was vacant. Thus, constructive adverse possession will not apply to allow Wendy to acquire an adverse possession title to the Eastern Acre. *See id.*

**FEBRUARY 2023 MEE
ANALYSIS 6 – EVIDENCE**

EVD (II.A. & C.; V.A., I. & K.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

OBJECTIVE

This question seeks to test the examinee’s knowledge of several rules of evidence and ability to explain how those rules apply to a set of facts involving several different types and uses of evidence.

ANALYSIS

Legal Problems:

- (1) Are admissions made by a defendant during a guilty plea proceeding admissible in a later civil case concerning the same matter when the defendant ultimately withdrew his guilty plea?
- (2)(a) In a civil action accusing a defendant of invasion of privacy, is evidence that the defendant committed a different invasion relevant and admissible?
- (2)(b) Is relevant deposition testimony admissible when the witness who gave the deposition refuses to testify at trial and is beyond the court’s subpoena power?
- (3) Can a plaintiff who testifies as a witness at trial be impeached by proof that she committed prior dishonest actions?

DISCUSSION

Summary

Because this action is in a federal district court, the Federal Rules of Evidence apply.

Defendant’s admissions at the plea proceeding are inadmissible because Defendant subsequently withdrew his guilty plea.

The man’s deposition testimony that Defendant watched him under circumstances similar to those alleged by Plaintiff is relevant and admissible evidence to prove either Defendant’s knowledge or his intent (or both). Its probative value is high and is not substantially outweighed by a risk of unfair prejudice or other factors warranting exclusion. Although the testimony is hearsay, it is admissible under the hearsay exception for former testimony because the man is

unavailable as a witness and Defendant had an opportunity and motive to examine the man at his deposition.

Even if Plaintiff's prior dishonest actions are probative of Plaintiff's character for untruthfulness, Defendant may not introduce extrinsic evidence to prove those prior actions. Prior bad acts showing a character for untruthfulness may, however, be inquired about on cross-examination of Plaintiff.

Point One (25%)

Defendant's admissions at the guilty plea proceeding are inadmissible because Defendant subsequently withdrew his guilty plea.

Defendant, the Plaintiff's former landlord, admitted in open court that he knew about the hole in the wall and repeatedly used it to spy on Plaintiff while she was dressing. This is relevant and highly probative evidence. However, those admissions are not admissible in this civil action because they were made in connection with a withdrawn guilty plea.

Federal Rule of Evidence 410(a) provides that "a statement made during a proceeding" on a guilty plea is "not admissible against the defendant" in a civil or criminal case if the guilty plea "was later withdrawn."

The facts of this problem raise precisely that situation. Defendant admitted at a plea proceeding that he knew about the hole in the wall and repeatedly used it to spy on Plaintiff while she was dressing. Those statements are highly relevant in Plaintiff's civil action against Defendant as they establish critical facts that Plaintiff must prove. However, the statements are inadmissible under Rule 410(a) because they were made in response to questioning by the judge during a guilty plea proceeding and Defendant subsequently withdrew his guilty plea.

Point Two(a) (25%)

The man's deposition testimony that Defendant watched him under circumstances similar to those alleged by Plaintiff is relevant, nonpropensity, other-act evidence of (a) Defendant's knowledge that there was a hole in the utility closet that he could use to peek at Plaintiff and (b) his intent to use the hole to peek at Plaintiff. In addition, the probative value of this evidence is high and is not substantially outweighed by a risk of unfair prejudice or other factors. Thus the court should deny the motion to exclude this evidence.

Evidence is relevant if it "has any tendency to make a fact more or less probable than it would be without the evidence." Fed. R. Evid. 401. Evidence that Defendant engaged in voyeurism of someone other than Plaintiff is relevant in a number of ways. The man's testimony about Defendant's prior similar conduct tends to prove both Defendant's knowledge (that he was aware that he could see into the bathroom through the closet's hole) and his intent (that he entered the utility closet on the occasion in question specifically to watch Plaintiff through the closet hole). Defendant has denied Plaintiff's allegations. Moreover, the probative value of the evidence is strengthened by the fact that the circumstances of the prior incident were nearly identical to the circumstances of the currently alleged tort.

However, the evidence is problematic because it also tends to show that Defendant has a propensity to engage in voyeurism. Although that fact would make it more likely than it would otherwise be that Defendant committed the invasion-of-privacy tort in the case currently under consideration, the Federal Rules of Evidence disfavor propensity evidence. Rule 404(b) prohibits the use of evidence of "any other crime, wrong, or act" to prove character (or propensity), when the purpose is only to show that some other action was in conformity with a person's alleged "character" or propensity. Fed. R. Evid. 404(b).

However, Rule 404(b) expressly does not prohibit evidence of prior bad conduct if the evidence is admitted "for another purpose, such as proving motive, opportunity, intent, preparation, plan, knowledge, identity, absence of mistake, or lack of accident." As discussed earlier, the man's deposition testimony about Defendant's prior similar conduct tends to prove Defendant's knowledge (that he could see into the bathroom through the closet's hole), which is relevant to establishing Plaintiff's claim that Defendant used the hole in the closet to peek at her. Thus, evidence of Defendant's prior voyeurism against another tenant is not solely propensity evidence, which would be inadmissible.

Evidence of Defendant's prior voyeurism could still be excluded under Rule 403 "if its probative value is substantially outweighed by a danger of . . . unfair prejudice, confusing the issues, misleading the jury, undue delay, wasting time, or needlessly presenting cumulative evidence." Here, the man's deposition testimony has significant probative value in establishing that Defendant's peeking was deliberate and not a mistake (given the similarity of the circumstances of the two episodes). However, there is also the risk that the jury will find Defendant liable not because of his conduct with respect to Plaintiff but because it wishes to punish him for his prior bad actions or because the man's testimony leads the jury to conclude that Defendant is a bad person.

On balance, it seems likely that a court would admit the evidence in this case. The evidence has a high probative value in establishing Defendant's knowledge of the hole in the closet and therefore the deliberateness of his conduct. The risk of jury misuse of the evidence probably does not "substantially outweigh" its probative value. Because this involves only one witness, whose testimony is recorded in a deposition, there is not likely to be a significant risk of wasting time or confusing a fact-finder (factors which, in some circumstances, may also justify exclusion of relevant evidence).

Furthermore, the judge can give the jury a limiting instruction, see Rule 105, that directs the jurors to consider the evidence only when determining whether Defendant knew of the hole in the closet and that it could be used to peek into Plaintiff's bathroom. Such a limiting instruction would minimize the prejudice by directing the jury not to consider the alleged prior bad acts of Defendant as proof that he committed the acts charged on the present occasion or as proof that Defendant has a bad character.

Point Two(b) (25%)

The man's deposition testimony is hearsay, but it is admissible under the hearsay exception for former testimony because the man is unavailable as a witness and Defendant had an opportunity and motive to examine him at the deposition.

Hearsay is an out-of-court statement offered to prove the truth of the matter stated. Fed. R. Evid. 801(c). Here, the man's deposition testimony is an out-of-court statement, and he will not be attending trial to testify to the same facts in court. In addition, the statement is clearly being offered to "prove the truth of the matter asserted" in the statement, i.e., that Defendant tortiously spied on the man in his bathroom, invading his privacy. Its relevance and admissibility depend on the assertion being true, and there is no reason to admit it other than to prove the truth of what is asserted. In short, the man's deposition testimony is hearsay.

Hearsay is not admissible in federal court unless admission is specifically authorized by the rules of evidence, by federal statute, or by other rules prescribed by the Supreme Court. Fed. R. Evid. 802. In this case, admission of the man's deposition testimony is authorized by the hearsay exception for former testimony. Fed. R. Evid. 804(b)(1).

A declarant's hearsay statement can be admitted under the former-testimony exception if three requirements are satisfied. First, the declarant must be "unavailable as a witness" in the trial or proceeding at which the hearsay statement will be used. Fed. R. Evid. 804(a). Second, the statement must be in the form of "testimony that was given as a witness at a trial, hearing, or lawful deposition." Fed. R. Evid. 804(b)(1). Third, the evidence must be offered against a party who "had . . . an opportunity and similar motive to develop it by direct, cross-, or redirect examination." *Id.*

All three requirements are met here. First, a witness is unavailable when the witness "is absent from the trial or hearing" and the proponent of the witness's statement "has not been able, by process or other reasonable means, to procure the declarant's attendance." Fed. R. Evid. 804(a)(5). The facts state that the man refuses to testify at the trial, that he lives hundreds of miles away from State A, and that Plaintiff has been unable to persuade him to attend the trial. Process cannot be used to force the man to attend the trial, as a federal court has power to compel attendance only for witnesses who reside or work within 100 miles of the court or in the same state as the court. Fed. R. Civ. Pro. 45(c). Plaintiff has tried persuasion, the only other reasonable means to procure attendance, and that has failed. Therefore, the man is unavailable.

The man's prior hearsay statement is in the form of testimony at a lawful deposition, satisfying the second prong of the hearsay exception. The third and final prong is satisfied by the fact that Defendant had an opportunity to examine the man at the deposition. Furthermore, Defendant had a motive to discredit the man's deposition testimony through cross-examination, knowing that the testimony was being secured to establish a pattern of behavior on Defendant's part that could later be used against him at trial.

Hence, although the man's prior statement is hearsay, it falls within a hearsay exception and is admissible.

Point Three (25%)

Even if Plaintiff's prior dishonest actions are probative of her character for untruthfulness, the court should rule that Defendant may not introduce extrinsic evidence to prove those actions. Defendant may, however, inquire about them while cross-examining Plaintiff.

Evidence that Plaintiff plagiarized a paper in college and lied about it on her graduate school application is relevant to prove her character for truthfulness or, more precisely, untruthfulness. Both the fact that Plaintiff would represent work that was done by someone else as her own work and the fact that she would lie about that on a high-stakes application suggest that she has a tendency to be untruthful. Such evidence has probative value insofar as it undermines her credibility and makes it less likely that she is telling the truth about what happened in her encounter with Defendant. Fed. R. Evid. 401.

Defendant may not introduce extrinsic evidence (e.g., evidence other than Plaintiff's testimony) of this alleged misconduct at trial. Fed. R. Evid. 608(b). If Plaintiff testifies, however, Defendant may cross-examine her about these alleged actions. *Id.*

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QUESTION 1 – TORTS

GS gas is a commonly used pesticide injected into the soil before farmers plant crops. After two weeks, 90% of GS will have risen from the soil into the air, and crops can be safely planted. GS is highly toxic and can be fatal to people in a confined area, where even slight exposure can cause serious respiratory problems. Some scientists believe that GS likely causes cancer. Several studies have linked GS exposure to cancer in mice, but no study has definitively linked GS exposure to cancer in humans.

Ten years ago, State A's health department researched GS. It found that GS injected into the soil eventually rises above ground and can then drift to nearby land up to one mile from each application point. It also found that before GS rises into the upper atmosphere, it can remain near ground level for several days in concentrations much higher than the department's suggested "safe" exposure limit. It therefore banned GS use in farming.

Two years ago, however, the health department lifted the GS ban in a county where most farms produce valuable crops that are very difficult to grow without effective pesticides. After the only other effective pesticide was taken off the market, the department lifted the GS ban because of several factors, including the need for GS in order to grow the county's traditional crops, the lack of viable substitute crops, the lack of other effective pesticides on the market, the estimated cost of crop losses county-wide if GS were not allowed (\$500 million annually), and the low population density in the county. The department requires all farmers using GS to attend a safety seminar that presents information on various risks of GS use (including the risks described in the department's findings supporting its earlier GS ban) and instruction on prudent GS application.

A married couple moved to this county 10 years ago and rented a house on land adjacent to fields that were owned by a local farmer. The couple has rented and lived in the house for the past 10 years.

When the health department lifted the ban on GS in the county, the local farmer attended the department's safety seminar and then began applying GS to the fields according to the application safety recommendations presented in the seminar. The farmer has used GS at the beginning of the last two planting seasons. The couple's house is less than a mile from several points where the farmer applied GS.

Last year, the wife was diagnosed with cancer and the husband began experiencing severe respiratory problems during the planting season. The wife believes that GS caused her cancer, and the husband believes that GS caused his respiratory ailments. Although cancer rates in the county are consistent with the state rate, reports of severe respiratory problems in the county have increased by 50% since the department lifted the ban on GS. The rate of respiratory illness in the county during planting season is now well above the rate of respiratory illness in other counties in the state at the same time of year.

The wife has sued the farmer to recover damages for her cancer, alleging negligence. The husband has also sued the farmer, alleging trespass and seeking injunctive relief to stop the farmer's GS use within one mile of the couple's house.

1. What must the wife prove to establish her negligence claim? Will she likely prevail? Explain.
2. What must the husband prove to establish his trespass claim? Will he likely prevail? Explain.
3. Assuming that the husband prevails, is it likely that the court will permanently enjoin the farmer from using GS within one mile of the couple's house? Explain.

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QUESTION 2 – CORPORATIONS & LLCs / AGENCY

Parent LLC and Sub LLC are both manager-managed LLCs, each with a sole manager. Parent LLC is the sole member of Sub LLC and selects Sub's manager. Parent obtains recycled plastic from various sources. Parent then sells some of this plastic to Sub at prevailing market prices. Sub uses the plastic to make upscale shoes, which it then sells.

The two companies work closely together. Sub sets its shoe production schedule and creates marketing programs based on Parent's projections of its access to recycled plastic. The local newspaper once characterized the two companies as "partners promoting business sustainability."

The two companies' collaboration is also reflected in their management structures and operations. They share personnel for human resources, accounting, and government relations. In addition, Parent's technical staff regularly works with Sub in designing and testing new processes for using recycled plastic. The two companies have no arrangement for sharing the costs of these services.

Last November, Sub entered into a delivery agreement with VanCo pursuant to which VanCo would deliver shoes made by Sub to Sub's customers. At the request of Sub's manager, who was away from the office, the agreement was signed by Greta, the manager of Parent, who happened to be visiting the Sub offices that day. Greta, who was not employed by Sub, signed the agreement and wrote beneath her signature: "as agent of Sub."

Recently, Sub ran into financial difficulties after a slowdown in the upscale shoe market. Sub is no longer able to pay its creditors and has stopped payments due under the delivery agreement with VanCo. Therefore, Sub, which for a time had been regularly distributing its profits to Parent as the sole member of Sub, has discontinued making distributions to Parent. Although Sub's operating agreement requires that its manager "consult with Parent's management group" before discontinuing distributions to Parent, Sub's manager discontinued these payments without consulting with Parent.

Assume that Sub is liable to VanCo under the delivery agreement and is unable to satisfy the claims by VanCo.

1. Is Parent liable to VanCo as a partner of Sub? Explain.
2. Is Parent bound by the agreement between Sub and VanCo signed by Parent's manager? Explain.
3. Should the fact that Parent and Sub are separate organizations be disregarded so that Parent is liable for Sub's obligations to VanCo? Explain.

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QUESTION 3 – TRUSTS & FUTURE INTERESTS

In 2008, Tom died in State A survived by his 64-year-old wife, Betty, to whom he had been married for 35 years. He was also survived by his estranged daughter from a previous marriage.

Tom had created a valid testamentary trust stating as follows:

- (1) Betty and I have had a wonderful marriage; she is the love of my life, and my primary purpose in creating this trust is to ensure that there will be sufficient funds to provide for her care and support for the rest of her life.
- (2) During Betty's lifetime, 80% of trust income shall be paid to her annually, and the balance of income shall be accumulated and added to trust principal to ensure further growth in the principal that will generate more future income for her.
- (3) Upon Betty's death, all trust assets shall be paid to my daughter. Sadly, I have no other relatives, so I have little choice but to bequeath the trust to my daughter rather than have the trust property escheat to the state.
- (4) No beneficiary may alienate or assign her interest in this trust, nor shall such interest be subject to the claims of her creditors.

Until 2019, 80% of trust income was sufficient, as Tom had anticipated, to provide for Betty's care and support. In 2019, when Betty was 75 years old, she was diagnosed with a health problem that necessitated her move to a nursing home. Initially, her income from the trust and Social Security enabled her to pay for her nursing-home care and other support needs.

Betty is now 79. Nursing-home fees have dramatically increased, a circumstance that Tom had not anticipated. Even with all available resources and government benefits, Betty can no longer afford current and likely future nursing-home fees.

Betty has asked the trustee to terminate the trust and invest the entire trust principal in an annuity, payable to her. A financial adviser has identified two annuities. Annuity A would provide payments sufficient for Betty's care and support for the rest of her life.

Annuity B would provide payments to Betty that are 3% less than the payments under Annuity A but still sufficient for her care and support. It would also include a cash payment payable to the testator's daughter at Betty's death. This payment would be substantially less than the amount the daughter would receive under the trust.

Betty has asked the trustee that, if the trust cannot be terminated, she be paid 100% of trust income so that she can at least meet her current nursing-home expenses and remain in her current nursing home for the time being.

State A's Trust Code includes the following provisions:

§ 1 A trust may be terminated upon consent of all the beneficiaries, if the court concludes that continuance of the trust is not necessary to achieve any material purpose of the trust.

§ 2 Upon termination of a trust under Section 1, the trustee shall distribute the trust property as agreed by the beneficiaries.

§ 3 For purposes of Section 1, a spendthrift provision in the trust is not presumed to constitute a material purpose of the trust.

§ 4 If not all beneficiaries of a trust consent to a proposed termination of the trust pursuant to Section 1, the court may nonetheless approve the termination if the court is satisfied that, if all the beneficiaries had consented, the trust could have been terminated under that section, and the interests of a beneficiary who does not consent can be appropriately protected in accordance with the testator's probable intention.

§ 5 A court may modify the dispositive terms of a trust if, because of circumstances not anticipated by the testator, modification will further the primary purpose of the trust. To the extent practicable, the modification must be made in accordance with the testator's probable intention.

1. If the daughter consents to the termination of the trust and the purchase of Annuity A (wholly for the benefit of Betty), may a court authorize the trustee to terminate the trust and purchase Annuity A? Explain.
2. If the daughter does not consent to the termination of the trust and the purchase of Annuity B (for the benefit of Betty and the daughter), may a court authorize the trustee to terminate the trust and purchase Annuity B? Explain.
3. If a court does not authorize the termination of the trust, may it, without the daughter's consent, authorize the trustee to pay 100% of the trust income to Betty? Explain.

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QUESTION 4 – CIVIL PROCEDURE

On January 4, 2023, Diner Inc. sued Tech Inc. in federal district court in State A. Diner Inc.'s complaint read in full (excluding captions and signatures) as follows:

Complaint

1. Diner Inc. (Diner) seeks damages for breach of contract by Tech Inc. (Tech). The contract is governed by the law of State A.
2. This Court has jurisdiction based on diversity. Diner is incorporated in State C, and Tech is incorporated in State D. The amount in controversy exceeds \$75,000.
3. Venue is proper in the District of State A because each party maintains its principal place of business in State A and all the material facts in this matter occurred in State A.
4. On January 15, 2018, Diner and Tech entered into an oral contract in State A. Under the terms of the contract, Tech agreed to design software for a voice-recognition ordering system for Diner's locations. Diner paid \$125,000 for the software.
5. On November 30, 2018, Tech delivered software for a voice-recognition ordering system. However, the software did not enable Diner's computers to recognize orders for all the items on a typical Diner menu. It permitted recognition only of "combination meal" orders identified by number, such as "combo #2."
6. On December 1, 2018, Diner notified Tech that the software failed to allow recognition of orders for all menu items and that this failure constituted a breach of contract. Tech refused to correct this breach.
7. As a result of this breach of contract, the software was useless to Diner and Diner is entitled to a return of the contract price plus other damages.

Tech's answer, excluding captions and signatures, read in full as follows:

Answer

1. Tech admits the allegations in paragraphs 1–5 of the Complaint.
2. Tech denies the allegations in paragraphs 6–7 of the Complaint.

One month after filing its answer, Tech filed a motion asking the court to grant summary judgment for two reasons. First, Tech argued that Diner's action was barred by the applicable four-year statute of limitations governing contract disputes. Second, Tech contended that its contract with Diner required it to produce voice-recognition software capable of recognizing only "combination meal" orders and that it fully performed that obligation.

In support of its motion, Tech cited the applicable statute of limitations, which states that actions for breach of contract must be brought within four years after the breach occurred. Tech also attached to its motion the affidavit of its president, who asserted (1) that she and Diner's president had agreed that the voice-recognition software would cover "only combination meals identified by number" and (2) that in any event, any breach occurred no later than November 30, 2018, when Tech delivered the software to Diner, which was more than four years before suit was filed.

Diner opposed Tech's motion for summary judgment and made a cross-motion for partial summary judgment on the issue of a contract breach. Diner asserted that the terms of the contract covered all menu items and that Tech's admission of the allegations in paragraph 5 of the Complaint (i.e., that the software did not cover all menu items) established Tech's breach of contract. In support of its cross-motion, Diner submitted the deposition testimony of eight witnesses to the agreement (including two Tech employees), who testified that they were present when the company presidents met and entered into the contract and that they heard the two presidents agree that the voice-recognition system would "cover all menu items."

Neither party offered a copy of a written contract because there was no written contract.

1. Did Tech properly raise the statute of limitations defense? Explain.
2. Assuming that the court reaches the issue of contract breach, how should it resolve the summary-judgment motions on that issue? Explain.
3. Is there any significant action that the court should take on its own initiative unrelated to the merits of the parties' summary-judgment motions? Explain.

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QUESTION 5 – SECURED TRANSACTIONS

On February 1, Company acquired from Supplier a machine for use in Company's business. The price of the machine was \$30,000. Supplier agreed that, in exchange for a down payment of \$6,000 and a promise to pay the remaining \$24,000 in 12 monthly payments of \$2,000, Supplier would immediately deliver the machine to Company but retain title to it until Company paid the remaining \$24,000. This arrangement was memorialized in a writing signed by both parties. The writing clearly described the machine. Company paid the down payment, and Supplier delivered the machine. Supplier did not file a financing statement with respect to this transaction.

On March 2, Company borrowed \$1,000,000 from Lender. The loan agreement, which was signed by both parties, stated that, to secure its obligation to repay the loan, Company granted a security interest to Lender in "all of Company's personal property." Also on March 2, Lender filed a financing statement reflecting this transaction, listing Company as the debtor and Lender as the secured party and indicating "all of Company's personal property" as the collateral. The financing statement was filed in the proper filing office.

On April 3, Company borrowed \$750,000 from BigBank. The loan agreement, which was signed by both parties, stated that, to secure its obligation to repay the loan, Company granted a security interest to BigBank in "all of Company's present and future equipment." On May 4, BigBank filed a financing statement reflecting this transaction, listing Company as the debtor and BigBank as the secured party and indicating "all of Company's present and future equipment" as the collateral. The financing statement was filed in the proper filing office.

By August 1, Company had defaulted on its obligations to Supplier, Lender, and BigBank. Each of those creditors is claiming an interest in the machine supplied to Company by Supplier and is asserting that its interest has priority over any interest of either of the other creditors.

1. (a) Does Supplier have an enforceable interest in the machine? Explain.
(c) Does Lender have an enforceable interest in the machine? Explain.
(d) Does BigBank have an enforceable interest in the machine? Explain.
2. What is the order of priority of the enforceable interests in the machine? Explain.

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QUESTION 6 – CRIMINAL LAW & PROCEDURE

Just after midnight, police in State A received a report of four men lurking in the alley behind a pharmacy that had been burglarized two weeks earlier. Five minutes later, Officers One and Two stopped a car operating illegally without headlights one block from the pharmacy. Four men were in the car: Adam, Ben, Carl, and Dillon.

Officer One told Adam, the driver of the car, "You were driving illegally without headlights. Step out of the car and hand me your driver's license." Although Officer One did not say so, he suspected that Adam had been involved in the prior burglary and in fact planned to arrest him. As Adam got out of the car, Officer One saw a bulge in Adam's jacket. He pat-searched Adam for weapons and felt nothing suspicious. Wanting to conceal his plan to arrest Adam, he said to him, "Just hold on here a couple of minutes. You're not free to leave now, but you will be as soon as I finish ticketing you for the headlight violation and verify that your license is valid. By the way, where were you guys coming from when we stopped you?" Adam responded, "I say nothing without a lawyer." Officer One said, "Relax, I'm just making small talk. We'll release you in a few minutes whether or not you answer questions. I'm just curious where you guys were tonight." Adam replied, "We were coming from behind the pharmacy."

Ten minutes into the traffic stop, based on incriminating evidence that other officers had just found behind the pharmacy, Officers One and Two arrested all four men on suspicion of burglary and drove them to the police department.

Officer Two took Ben into a room and said, "I need to tell you that you have all the rights the Constitution gives you, along with any Miranda rights you might have. Do you understand?" Ben replied, "Yes, but to avoid prison, I'll admit that me and my buddies broke into the pharmacy a few weeks ago. If you agree not to charge me, I promise to testify against the others."

Officer Three took Carl to a different room. He read this statement aloud: "You have the right to remain silent. Anything you say can be used against you in a court of law. You have the right to an attorney and to have the attorney with you for questioning. If you cannot afford an attorney, one will be provided for you." Officer Three then gave Carl a copy of the statement and watched Carl silently read it. Carl said that he understood his rights, and through two hours of questioning, he sat staring sternly at Officer Three and said nothing. Finally, Officer Three said, "I'm not assuming you're exercising a right to remain silent; I don't read minds. So again, were you involved in the burglary?" Carl then said, "OK. I was there two weeks ago, but I was only sort of a lookout."

Officer Four sincerely but incorrectly thought that another officer had advised Dillon of his Miranda rights. Officer Four took Dillon to the county jail, and while there, Officer Four spoke privately with Cellmate, an inmate and police informant. Officer Four urged Cellmate to introduce himself to Dillon, gain his trust, and ask him about the burglary. Officer Four promised in exchange to give Cellmate \$50 and to convince the prosecutor to offer him an early-release deal. Three hours later, Cellmate informed Officer Four,

"I did everything you asked, and Dillon bragged that he broke into the pharmacy two weeks ago and tried again last night."

Two days later, State A charged all four men with burglary and agreed to try them separately. Each moved the trial court to suppress evidence solely on the ground that admission of his statement into the criminal trial would violate his rights under *Miranda*. Specifically,

1. Adam moved to suppress the incriminating statement he made to Officer One.
2. Ben moved to suppress the incriminating statement he made to Officer Two.
3. Carl moved to suppress the incriminating statement he made to Officer Three.
4. Dillon moved to suppress the incriminating statement he made to Cellmate.

How should the trial court rule on each motion to suppress? Explain.

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**JULY 2023 MEE
ANALYSIS 1 – TORTS**

TOR (I.A.; II.B., C., D.2., E.1)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) What must the wife prove to establish her negligence claim? Will she likely prevail?
- (2) What must the husband prove to establish his trespass claim? Will he likely prevail?
- (3) Assuming that the husband prevails, is it likely that the court will permanently enjoin the farmer from using GS within one mile of the couple's house?

DISCUSSION

Summary

To recover damages for her cancer on a negligence theory, the wife must prove that the farmer owed her a duty, that the farmer breached that duty, that the breach of duty caused the harm, and that the harm was within the farmer's scope of liability (proximate cause). Here, duty is clear, but breach and causation are less clear. It is possible that the wife can prove that the farmer breached a duty to her. But it is unlikely that she will be able to show causation.

To establish a trespass, the husband must prove that he has a possessory interest in land and that the farmer intentionally invaded that interest through the use of GS. Here, the husband's rental of the house establishes a possessory interest. Given that GS is known to drift onto properties near farms where it is used, the husband can almost certainly prove that, by using GS, the farmer intended an invasion. However, in a significant majority of jurisdictions applying modern tort principles, invasion by a gas does not constitute trespass.

Traditionally, establishing an ongoing trespass entitled the plaintiff to injunctive relief. Today, however, many, if not most, courts deny injunctive relief if the harm to the defendant or the public from granting an injunction outweighs the negative impact on the plaintiff of not granting the injunction. Here, there are a number of factors that suggest that an injunction should not be granted.

Point One (40%)

To recover damages from the farmer for her cancer based on a claim of negligence, the wife needs to establish duty, breach, causation, and scope of liability (proximate causation). Duty is

clear in this case; in general, defendants engaging in potentially dangerous activities owe a duty to anyone they might harm. Similarly, scope of liability is not a significant issue here: the risk of cancer is exactly the kind of risk that makes applying the gas dangerous. The main challenges to the wife's negligence claim are her ability to prove (1) breach of the duty of reasonable care and (2) causation in fact; thus, her claim will likely fail.

Under modern tort principles, the farmer will owe a duty to others to exercise reasonable care. See Restatement (Third) of Torts: Liability for Physical and Emotional Harm § 7(a) (2010) (“An actor ordinarily has a duty to exercise reasonable care when the actor’s conduct creates a risk of physical harm.”). Breach of the duty of reasonable care (sometimes itself called “negligence”) requires a fact-sensitive inquiry; reasonableness is determined “under all the circumstances.” *Id.* § 3; see also 1 Dan B. Dobbs, Paul T. Hayden, and Ellen M. Bublick, *The Law of Torts* § 125 (2d ed. 2011) (“The duty or standard imposed in most cases is the duty of reasonable care under the circumstances, no more, no less. Equivalent shorthand terms are due care and ordinary care.”).

Here, several facts can plausibly suggest that the farmer breached his duty of reasonable care: the widely suspected general dangers associated with GS; the farmer’s particular knowledge of those risks (based on the training he received); research that shows that when GS is applied to land, concentrations above “safe” levels on neighboring land may result; the fact that he applied GS within one mile of a residence; and evidence that a small amount of GS can cause serious respiratory disorders. Based on the generally known and suspected risks, any reasonably prudent person might avoid using GS altogether. Based on the farmer’s specific knowledge of risks, which is a factor that is “to be taken into account in determining whether the actor has behaved as a reasonably careful person,” Restatement (Third) of Torts § 12, he could have breached the duty of ordinary care by applying GS in areas where it could harm his neighbors.

Other facts, however, suggest that the farmer did not act in an unreasonable manner so as to breach his duty of care: the benefits of GS were significant; the state had studied the matter and decided that the benefits of GS’s use in the county outweighed the risks; and scientific research has not specifically established GS’s risk of cancer in humans. In short, it is conceivable, but far from certain, that a fact-finder would likely conclude that the farmer’s use of GS was unreasonable.

The fact that the health department permits the use of GS does not preclude a finding of negligence. Complying with statutes and regulations does not, on its own, imply that a defendant has acted safely, although it is one factor to consider. See Restatement (Third) of Torts § 16(a) (“An actor’s compliance with a pertinent statute, while evidence of nonnegligence, does not preclude a finding that the actor is negligent . . . for failing to adopt precautions in addition to those mandated by the statute.”); Restatement (Second) of Torts § 288C, cmt. a (1965) (“Where a statute, ordinance or regulation is found to define a standard of conduct for the purposes of negligence actions, . . . the standard defined is normally a minimum standard . . . [that] does not prevent a finding that a reasonable man would have taken additional precautions where the situation is such as to call for them.”).

Finally, to recover damages in a negligence claim, the wife must also show that the farmer's use of GS in fact caused her cancer. Restatement (Third) of Torts § 26. On the facts here, she probably cannot do so.

For one thing, the wife may not even be able to prove that GS causes cancer in humans in general. That is, even putting aside her individual case, there is no clear evidence for a scientific link between GS and cancer in humans. At most, there is suggestive evidence—animal studies and suspicion by scientists—but no scientific study has established that GS causes cancer in humans. The wife cannot establish that a toxic agent caused her harm without showing this general linkage—sometimes called “general causation.”

Moreover, even if GS were known to cause cancer in human populations in general, the wife will not be able to prove that it caused *her* cancer. This is sometimes called “specific causation.” See Dobbs et al., *supra*, § 184, at 616 (“[G]eneral causation is necessary to the plaintiff's case, [but] it is not sufficient; the plaintiff must then go further and present evidence that causation is not merely scientifically possible, but that it existed in her particular case.”). Here, cancer is not a “signature disease” linked to GS; when, as here, an underlying disease like cancer may result from many different causes, the plaintiff cannot meet her burden of proof as to causation simply by showing that she was exposed to GS. See *Allen v. United States*, 588 F. Supp. 247 (D. Utah 1984) (dismissing various cancer cases allegedly caused by radiation exposure), *rev'd on other grounds*, 816 F.2d 1417 (10th Cir. 1987). While some scientists believe that GS causes cancer, there is no epidemiological evidence showing a link between exposure like the wife's and cancer, nor is there evidence of a higher incidence of cancer in the county than there is statewide. With only these facts, the wife cannot establish that the farmer's use of GS caused her cancer. Her negligence action would therefore fail.

Point Two (30%)

To establish a trespass by the farmer, the husband needs to show actual and exclusive possession of land and the farmer's nonprivileged entry upon that land. In many jurisdictions, a showing of intent would also be required. Here, the husband can show the requisite possessory interest and probably can show intent (i.e., knowledge). But entry by gas is not normally sufficient for trespass. Thus, his trespass claim will fail.

A trespass occurs when a person, or an entity that the person controls, enters or remains upon land in the possession of another without a privilege to do so. Restatement (Second) of Torts §§ 158, 329; *Johnson v. Paynesville Farmers Union Coop. Oil Co.*, 817 N.W.2d 693, 701 (Minn. 2012). Today, trespass is often categorized as an intentional tort. For the purposes of this tort, “intent” includes either purpose or knowledge: an unlawful entry thus may be shown based on either the “desire to bring about” such an entry or knowledge that an unlawful entry “is substantially certain to result.” Restatement (Third) of Torts § 1(b). See also Restatement (Second), *supra*. Any person with actual and exclusive possession of land (such as that conferred by a rental agreement) may bring a trespass action. Nominal damages are generally presumed, and a trespass additionally subjects the trespasser to liability for physical harm to the land or possessor. See *Johnson*, *supra*, at 704.

Here, the couple rents the land and house where they live together, and this rental satisfies the requirement that the husband have actual and exclusive possession of land. He can probably show intent on the part of the farmer, because the farmer attended a safety seminar in which he was informed of the health department's findings about the environmental risks of GS, which would have included the fact that GS moves from the land where it is applied to neighboring land. The husband can use the same health department findings to show that GS, a gas controlled by the farmer, likely entered the air above his land.

Entries *above* land, rather than on the ground, may still count as trespasses. Restatement (Second) of Torts § 159 (1965). But entry by gas is not normally sufficient for trespass.

The rule requiring tangible entry for a trespass remains sound today, and reflects ancient history reinforced by contemporary policy. Pollution, noise, gases, unpleasant sights, and dangerous conditions such as stored explosives can all reduce one's enjoyment of land, but courts have been unwilling to say that a landowner would have a claim for damages any time she heard a noise or smelled burning leaves. The policy view is that the law of trespass with its automatic responsibility for any purposeful or certain entry would produce too much liability. It provides no mechanism for limiting liability to serious or substantial invasions. If smoke drifting onto the plaintiff's land were held to be a trespass, even a little smoke would count. The law of nuisance is therefore better suited to such cases. Dobbs et al, *supra* § 53.

Courts have occasionally permitted trespass claims based on an invasion by intangible airborne particles. See, e.g., *In re Tenn. Valley Auth. Ash Spill Litig.*, 805 F. Supp. 2d 468, 484 (E.D. Tenn. 2011) (finding that invasions of intangible particles in Tennessee are trespasses without a showing of actual or substantial harm). But by far most jurisdictions have denied trespass claims based on the entry of intangible forces like electricity or odors. See, e.g., *Wendiger v. Forst Farms, Inc.*, 662 N.W.2d 546 (Minn. Ct. App. 2003) (odors from hog farm); *Beal v. W. Farmers Elec. Coop.*, 228 P.3d 538 (Okla. Ct. Civ. App. 2010) (stray electricity); *John Larkin, Inc. v. Marceau*, 959 A.2d 551, 556 (Vt. 2008) (air particulates); *Barnett v. Conn. Light & Power Co.*, 900 F. Supp. 2d 224, 245–46 (D. Conn. 2012) (electromagnetic fields). When jurisdictions have permitted trespass claims based on intangible or other nontraditional intrusions, they have generally treated the claims more like nuisance claims by “requir[ing] proof of damage to the invaded property.” *Darney v. Dragon Products Co. LLC*, 994 A.2d 804, 807 (Me. 2010). See also *John Larkin, Inc.*, 959 A.2d at 554–55 (acknowledging modern trespass theory permitting claims for entry by intangible airborne particulates but dismissing trespass action due to the absence of physical impact interfering with exclusive possession). In such jurisdictions, the husband could conceivably establish that additional factor based on the evidence linking GS to his respiratory illness.

In the large majority of jurisdictions, however, the husband's trespass claim will fail because he can show only the entry onto his land of GS, a gas.

Point Three (30%)

If the husband establishes an ongoing trespass, a court would likely deny injunctive relief because the impact of the injunction would have a disproportionate impact on the farmer and because the health department approved use of GS in the county.

If the husband succeeds in establishing an ongoing trespass, a court will apply a balancing test to determine whether he can obtain injunctive relief. *See* Restatement (Second) of Torts § 936. Traditionally, establishing an ongoing trespass or private nuisance entitled the plaintiff to injunctive relief automatically. However, courts now consider the impact on both parties and on the public before granting injunctive relief. Courts have denied injunctive relief when the defendant's activity is valuable and granting injunctive relief would require the defendant to close down because the technology to avoid the harm inherent in the defendant's activity is not available. *See Boomer v. Atlantic Cement Co.*, 257 N.E.2d 870 (N.Y. 1970) (declining injunctive relief against emission of dust from cement factory due to lack of technology to produce cement without emitting dust). "Both before and after *Boomer*, courts have balked at granting injunctive relief in cases of extreme disparity." Richard A. Epstein & Catherine M. Sharkey, *Cases and Materials on Torts* 618 (11th ed. 2016).

Here, an injunction could well have a profoundly adverse impact on the farmer. The facts suggest that GS or an alternative pesticide is needed to grow the county's crops, that alternatives to GS are apparently unavailable, and that other crops cannot easily be grown in the county. The exact monetary loss that the individual farmer would suffer is unknown, but it likely would be significant, given that the health department estimated county-wide losses of \$500 million annually if use of GS were not allowed. Furthermore, the farmer would have to stop using GS on all areas within a mile of the couple's house, which would likely cover a substantial amount of cropland.

On the other hand, the benefit to the husband of stopping the farmer's use is unknown based on the facts presented, but he will attempt to show a causal relationship between the GS application and his adverse respiratory symptoms. The farmer will likely contend that, even if the husband is not exposed to GS from the farmer's land, GS is used throughout the county, and he is likely to continue to be exposed to the gas even if the farmer stops using it.

A court would also likely take the health department's decision to permit GS use into account. On balance, it is likely that, as in *Boomer*, a court would decline to order permanent injunctive relief on these facts.

JULY 2023 MEE
ANALYSIS 2 – CORPORATIONS & LLCs / AGENCY

COR (III.; V.D.; VIII.) / AGC (II.; IV.A)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Is a parent LLC liable to a third-party creditor of its wholly owned subsidiary LLC as a partner of the subsidiary because the subsidiary distributes its profits to the parent and the two companies share personnel and staff?
- (2) Is a parent LLC liable as a party to a contract that was signed by the parent’s manager when the manager was acting as an agent of the parent’s wholly owned subsidiary LLC?
- (3) Is a parent LLC liable under the “piercing the company veil” doctrine for obligations of its wholly owned subsidiary LLC to a third-party creditor of the subsidiary when
 - (a) the parent company is the sole member of the subsidiary company;
 - (b) the two companies coordinate their business activities;
 - (c) the two companies share personnel and staff;
 - (d) the subsidiary company distributes profits to the parent company; and
 - (e) the general manager of the subsidiary company failed to follow “formalities” in discontinuing distributions from the subsidiary to the parent company?

DISCUSSION

Summary

Parent is not liable to VanCo as a partner of Parent’s wholly owned subsidiary Sub because the two LLCs do not “carry on as co-owners a business for profit.” They share neither profits nor control of a single business. Their legal relationship is that of parent-subsidiary, not that of partners.

Parent is not bound by the agreement between its subsidiary Sub and VanCo. Even though the agreement was signed by Parent’s manager (Greta), she acted solely on behalf of Sub, at the request of Sub’s manager, and signed the contract as “agent of Sub.”

Parent should not be liable to VanCo on a piercing-the-company-veil theory. In LLC piercing cases, courts generally apply similar fact-intensive piercing tests and factors as are applied in corporate parent-subsidary piercing cases. Here, the facts do not indicate, with respect to the Sub-VanCo relationship, that Parent engaged in fraudulent behavior that created the impression that the two companies were not separate. Nor is there any indication that Parent engaged in preferential transfers from Sub at the expense of Sub's creditors. Under the [Revised] Uniform Limited Liability Company Act (RULLCA) (2006), the failure of Sub's general manager to follow formalities in discontinuing distributions to Parent is not a relevant piercing factor. Indeed, the discontinuance of distributions to Parent provides evidence of Sub's appropriate behavior to protect the interests of its creditors.

Point One (35%)

Parent is not liable for Sub's debts as a partner of Sub because the two LLCs do not carry on as co-owners a business for profit.

Generally, partners are jointly and severally liable for the obligations of their partnership. *See* [Revised] Uniform Partnership Act (RUPA) (1997) § 306(a). Thus, the question here is whether Parent and Sub are partners.

A partnership is defined as "the association of two or more persons to carry on as co-owners a business for profit . . . whether or not the persons intend to form a partnership." RUPA § 202(a) (1997, as amended 2013). A partnership may be formed by individuals, as well as by legal or commercial entities. RUPA § 102(14) (definition of "person" includes an individual or "legal or commercial entity"). Thus, whether the business dealings between two limited liability companies (LLCs) create a "partnership" turns on whether they "carry on as co-owners a business for profit." Consistent with the common law and the earlier version of the UPA (1914), "co-ownership" involves the sharing of control over the business and a right to share in the profits of the co-owned business. *See* RUPA § 202(c)(3) ("A person who receives a share of the profits of a business is presumed to be a partner in the business").

Here, there is no co-owned business and thus no partnership. Instead, there are two separate businesses. One business, operated by Parent, acquires recycled plastic. The other business, operated by Sub, manufactures upscale shoes from the recycled plastic and sells them. Further, there is no indication in the facts that the two LLCs co-owned a single business by sharing in the profits of a single business. Instead, Parent, as sole member of Sub, has a right to all the profits distributed by Sub, its wholly owned subsidiary.

Additionally, the companies have separate management. The arrangement under which the two companies have some common personnel (that is, certain individuals working in similar capacities for both companies) does not result in the sharing of control in a common business.

Although the local newspaper characterized the two companies as "partners," this characterization has no bearing on their legal relationship. What matters is whether the parties have established a relationship that the law treats as a "partnership." *See* Comment, RUPA § 202(a).

Thus, because the two LLCs do not carry on as co-owners a business for profit, they are not partners. Therefore, Parent is not liable to VanCo as Sub's partner.

Point Two (35%)

Parent is not bound by the agreement between Sub and VanCo; Parent's manager, who was authorized to sign the agreement as agent of Sub, did not sign the agreement on behalf of Parent.

Under the [Revised] Uniform Limited Liability Company Act (2006), an LLC can be bound to agreements with third parties under general principles of agency law. *See* Comment, RULLCA (2006) § 301 ("Under this Act, other law—most especially the law of agency—will handle power-to-bind questions."). Thus, the question is whether Parent is bound to the agreement with VanCo under agency law principles on the basis of Greta's signature on the agreement.

Greta was the manager of Parent. Under § 407(c) of RULLCA, she thus had actual and apparent authority to manage and conduct activities on behalf of Parent. Thus, if Greta had been acting on behalf of Parent, or if VanCo reasonably believed that Greta was so acting based on some manifestation from Parent, Parent could be liable to VanCo.

However, there is no indication that Greta was acting on behalf of Parent or that VanCo believed her to be so acting. To the contrary, Greta signed "as agent of Sub," and Greta had been given actual authority by Sub's general manager to so sign. Moreover, the contract was between Sub and VanCo; there is no indication that Parent was mentioned in the contract. Parent, as Greta's principal, is liable on contracts made by Greta only if they were made with "the understanding that the principal is a party." Restatement (Second) of Agency § 144, *see also* § 146 (liability of a principal to a contract made by an agent with a third person "depends upon the agreement between the agent and the other party as to the parties to the transaction"). Here, Greta was an agent for Parent, but was not so acting when she signed the contract with VanCo, and Parent is not liable on the contract.

Point Three (30%)

Under the theory of piercing the company veil, Parent should not be liable for the obligations of Sub to VanCo. The facts do not indicate, with respect to VanCo's contract claim, that Parent engaged in fraudulent behavior that created the impression that the two companies were not separate or that Parent engaged in preferential transfers from Sub at the expense of Sub's creditors.

RULLCA, like most LLC statutes, provides that neither members nor managers are personally liable for the obligations of an LLC "solely by reason of being or acting as a member." RULLCA (2006) § 304(a)(2). Under the RULLCA, this is true even if the members or managers of the LLC have failed to observe "particular formalities relating to the exercise of [the LLC's] powers or management of its activities." *Id.* § 304(b). Although "disregard of corporate formalities" is a key factor in corporate piercing cases, the "factor is inappropriate [in LLC piercing cases], because informality of organization and operation is both common and desired [in an LLC]." *Id.*, § 304, comment to Subsection (b).

Apart from that distinction, courts have generally applied judge-made principles of “piercing the corporate veil” when evaluating claims to “pierce the company veil” of an LLC—and thus to impose liability on LLC members. See Miriam R. Albert, *The New York LLC Act at Twenty: Is Piercing Still ‘Enveloped in the Midst of Metaphor’?*, 31 Touro L.J. 411 (2015). As noted in a comment to RULLCA, “[t]he doctrine of ‘piercing the corporate veil’ is well-established, and courts regularly . . . apply that doctrine to limited liability companies.” Comment to Subsection (b), RULLCA (2006) § 304; see also *Retropolis, Inc. v. 14th Street Dev. LLC*, 797 N.Y.S.2d 1 (App. Div. 1st Dep’t 2005) (concluding that “the doctrine of piercing the corporate veil . . . applies to limited liability companies”).

“The most common veil-piercing test requires a plaintiff to demonstrate that a corporation was an ‘alter ego’ or ‘mere instrumentality,’ as evidenced by complete control and domination, of a shareholder used to perpetuate a fraud, wrong, or injustice that has proximately caused unjust loss or injury to the plaintiff.” Peter R. Oh, *Veil-Piercing*, 89 Tex. L. Rev. 81, 84 (2010) (collecting and analyzing 2,908 corporate veil-piercing cases from 1658 to 2006). In addition, courts have referred to various factors that are generally thought to weigh in favor of piercing the corporate veil: close (versus public) corporation, corporate (versus individual) defendant, tort (versus contract) plaintiff, misrepresentation by defendant, intertwining of business activities, commingling of assets, overlap in corporate officials/employees, and failure to follow corporate formalities. See also Robert B. Thompson, *Piercing the Corporate Veil: An Empirical Study*, 76 Cornell L. Rev. 1036 (1991) (collecting and analyzing 1,600 cases from 1930 to 1985).

Piercing in the context of this LLC parent-subsidary relationship does not appear to be justified. Although Sub is a closely held LLC, there does not appear to have been a confusion of its business and activities with those of Parent. Cf. Comment to Subsection (b), RULLCA (2006) § 304 (identifying lack of “economic separateness,” such as writing checks on the company’s account to pay for personal expenses, as “key factor” in piercing cases). The agreement with VanCo for delivery services was in the name of Sub and was authorized specifically by Sub’s general manager. There is no indication of commingling of assets; instead, payments by Sub to Parent were undertaken as “distributions of profits” by the subsidiary to the parent. In short, there is no indication that Parent and Sub confused or misled anyone about their separate identities and responsibilities. Cf. John H. Matheson, *The Modern Law of Corporate Groups: An Empirical Study of Piercing the Corporate Veil in the Parent-Subsidiary Context*, 87 N.C. L. Rev. 1091, 1128–29 (2009) (finding “where fraud or misrepresentation is not found [in parent-subsubsidiary piercing cases], courts refused to pierce in more than nine out of ten cases”).

Although the two companies coordinate their businesses and there is an overlap in the human resources, accounting, and government relations personnel of the two companies, these circumstances are not unusual in a parent-subsubsidiary relationship and do not appear to have created any confusion or deception. See *id.* at 1150. The selection by Parent of Sub’s general manager, rather than evidence of untoward “domination or control” that prejudices creditors, simply evidences a normal arrangement in a parent-subsubsidiary relationship. See *id.* at 1125–27.

In addition, the transfers of money between the two companies appear not to have been done to prefer Parent over Sub’s creditors. According to the facts, Sub pays market prices for the plastic it buys from Parent. Further, when Sub distributed profits to its sole member Parent, there is no indication that these distributions were illegal or that they disadvantaged creditors of Sub. Cf.

RULLCA (2006) § 405 (prohibiting distributions that would render LLC insolvent or leave it with total assets less than total liabilities).

Finally, the failure of the general manager of Sub to follow “formalities” in discontinuing the payment of distributions to Parent is specifically not relevant under RULLCA. *See* RULLCA (2006) § 304(b) (specifying that failure to follow LLC formalities cannot be basis for disregarding limited liability). In fact, the discontinuance of distributions by Sub was a financially responsible step considering the decline in Sub’s sale of shoes in the market. Moreover, it reinforces the separate economic existence of the two entities.

[NOTE: Piercing the veil is available only when the entity (whether a corporation or an LLC) is insolvent and the creditor’s claim cannot be satisfied against the entity. *See* Matheson, *supra*, at 1094–95 (claimants seek piercing when “subsidiary corporation is subject to significant unsatisfied claims or impending bankruptcy”); Herrick K. Lidstone, Piercing the Corporate and LLC Veil (December 18, 2020), available at ssrn.com/abstract=2207735 (noting that “piercing is a remedy, not a separate cause of action” to enforce an underlying judgment against an entity unable to satisfy a claim). Here, the question makes clear that Sub will not be able to satisfy the contractual obligations it owes to VanCo. Thus, the question focuses only on the issue of whether piercing is appropriate under the facts of this case.]

JULY 2023 MEE
ANALYSIS 3 – TRUSTS & FUTURE INTERESTS

TRU (I.C.3., G., H.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) If the daughter consents to the termination of the trust and the purchase of Annuity A (wholly for the benefit of Betty), may a court authorize the trustee to terminate the trust and purchase Annuity A?
- (2) If the daughter does not consent to the termination of the trust and the purchase of Annuity B (for the benefit of Betty and the daughter), may a court authorize the trustee to terminate the trust and purchase Annuity B?
- (3) If a court does not authorize the termination of the trust, may it, without the daughter's consent, authorize the trustee to pay 100% of the trust income to Betty?

DISCUSSION

Summary

Under Section 1 of the Trust Code, if both Betty (the testator's wife) and the daughter consent, the trust can properly be terminated because they are the only trust beneficiaries and continuation of the trust is unnecessary to achieve any material purpose of the trust, even though the trust contains a spendthrift clause. Under Section 3 of the Trust Code, there is a statutory presumption that the spendthrift clause (Clause 4 of the trust) is not a material purpose of the trust. Thus, the only remaining material purpose would be the care and support of Betty, and that purpose would be fully satisfied by the purchase of Annuity A, which is an annuity wholly for Betty's benefit.

If the daughter does not consent to the termination of the trust, the court can nonetheless approve a termination if the court is satisfied that the material purpose of providing for Betty's care and support (the trust's only material purpose) can be fulfilled by the purchase of a proposed annuity and the annuity appropriately protects the daughter. The financial adviser has noted that even Annuity B would allow Betty to maintain her current lifestyle with minimal financial disruption, which should satisfy the trust's material purpose of providing for her care and support. And, given that the facts clearly support the conclusion that the care and support of Betty was the dominant motive in creating the trust and that Betty was the trust beneficiary that the testator primarily sought to benefit, purchasing Annuity B with the proposed cash benefit to the estranged daughter seems consistent with that intent even though it likely will result in the

daughter's ultimately receiving significantly less when Betty dies than she would have received if the trust did not terminate.

Under Section 5 of State A's Trust Code, "[a] court may modify the dispositive terms of a trust if, because of circumstances not anticipated by the testator, modification will further the primary purpose of the trust. To the extent practicable, the modification must be made in accordance with the testator's probable intention." A modification under Section 5 does not require the consent of another beneficiary or that the court appropriately protect the daughter's interest. Here, Betty's support was the testator's primary intention in creating the trust, and her current financial needs were clearly unanticipated. Thus, the court could authorize the trustee to pay all trust income to Betty without the consent of other trust beneficiaries (i.e., the daughter).

Point One (40%)

If the daughter and Betty consent, the trust can be terminated because the spendthrift clause is presumed not material and termination to purchase Annuity A would be consistent with the material purpose of the trust to provide care and support for Betty for the rest of her life.

Section 1 of the State A statute provides that "[a] trust may be terminated upon consent of all the beneficiaries, if the court concludes that continuance of the trust is not necessary to achieve any material purpose of the trust."

This statute is consistent with the so-called *Claflin* doctrine, which is that a trust may be *terminated* only when all beneficiaries consent and continuance of the trust is not necessary to carry out a material purpose of the trust. *See Claflin v. Claflin*, 20 N.E. 454 (Mass. 1889). Under the *Claflin* doctrine, a spendthrift clause barring assignment of a beneficiary's interest has typically been treated as a material purpose. Under that approach, a spendthrift clause typically precludes trust termination even when all beneficiaries consent to the trust's termination. *See* William M. McGovern, Sheldon F. Kurtz, David M. English & Thomas P. Gallanis, *Wills, Trusts and Estates Including Taxation and Future Interests* 438–40 (5th ed. 2017).

Because the spendthrift clause (Clause 4 of the trust) is not material, the only material purpose of the trust is to provide for lifetime care and support for the testator's wife, Betty. This is easily gleaned from the language in Clauses 1, 2, and 3 indicating that providing for Betty's lifetime support is tantamount to why the trust was created. The trust was not created primarily to benefit the estranged daughter. In fact, the daughter's interest was created only to avoid escheat to the state.

Given that the trust income will not be sufficient to provide for Betty's lifetime care and support, termination of the trust to allow for the purchase of Annuity A seems entirely consistent with the material purpose of the trust. Thus, termination would not violate Section 1 of the Trust Code.

Point Two (30%)

If the daughter does not consent to the termination of the trust and the purchase of Annuity B, it is unclear whether the court would approve the termination of the trust.

Section 1 of the State A Trust Code provides that “[a] trust may be terminated upon consent of all the beneficiaries, if the court concludes that continuance of the trust is not necessary to achieve any material purpose of the trust.”

Section 4 of the Trust Code provides:

If not all beneficiaries of a trust consent to a proposed termination of the trust pursuant to Section 1, the court may nonetheless approve the termination if the court is satisfied that, if all the beneficiaries had consented, the trust could have been terminated under that section, and the interests of a beneficiary who does not consent can be appropriately protected in accordance with the testator’s probable intention.

Two issues arise here. First, would the trust’s material purpose be met if the trustee purchased Annuity B? This annuity’s reduced payments would be sufficient to cover Betty’s future nursing-home expenses and allow her to maintain her current lifestyle with minimal financial disruption. Thus, this policy meets the material purpose of the trust.

The second issue is whether the interest of the daughter can be appropriately protected if she does not consent to the termination of the trust. Here, purchase of Annuity B would result in the daughter’s receiving significantly less than she would have received if the trust had not been terminated. Thus, it could be concluded that this does not appropriately protect her interest. On the other hand, a court might conclude that given the testator’s expressed intent to provide for his daughter only to avoid escheat to the state and that his primary purpose in creating the trust was to provide Betty with sufficient funds for her care and support for the rest of her life, the smaller amount paid under Annuity B to the daughter would be appropriate protection of her interest.

Point Three (30%)

A court could *modify* the trust terms to authorize the trustee to pay all trust income to Betty without the daughter’s consent. The facts support the conclusion that Betty’s increased nursing-home expenses represent a change of circumstances not anticipated by the testator. Thus, paying 100% of the trust income to Betty would both further the purposes of the trust and comport with the testator’s probable intentions.

Traditionally, courts were willing to modify *administrative* provisions of a trust (such as a directive on the investment of trust assets) but were unwilling to modify an unambiguous *distributive* provision. “When the intention of a settlor is plainly expressed . . . the Court will not go outside of the instrument in an attempt to give effect to what it conceives to have been the actual intent or motive of the settlor.” *Taylor v. Hutchinson*, 497 P.2d 527, 530 (Ariz. App. 1972); *accord*, Restatement (Second) of Trusts § 167 (allowing modification of administrative, but not distributive, trust provisions).

However, because trusts often continue for lengthy periods, circumstances may change and dispositive trust provisions that initially made good sense may no longer be consistent with the settlor's likely intentions. Reflecting this reality, the restrictive traditional approach has been abandoned as reflected in Section 5 of State A's Trust Code. Under Section 5, "[a] court may modify the dispositive terms of a trust if, because of circumstances not anticipated by the testator, modification will further the primary purpose of the trust. To the extent practicable, the modification must be made in accordance with the testator's probable intention." A modification under this section does not require the consent of another beneficiary. And unlike Section 4, which applies to terminations of trusts and not modifications, a modification under Section 5 does not require that the court appropriately protect the daughter's interest.

For Section 5 to apply, there must be (1) unanticipated circumstances and (2) a modification that accords with the testator's probable intention. Both elements exist here.

Here, 11 years after the testator died, Betty developed a health disorder requiring nursing-home care. Additionally, there are no facts suggesting that the testator anticipated the dramatically increased cost of Betty's nursing-home care. To the contrary, the fact that he gave Betty 80% of the income and directed that 20% be accumulated to grow principal to provide income for her in the future suggests that when the will was prepared, the testator thought that 80% of trust income would be sufficient to provide for Betty's care and support. The testator simply did not anticipate that after his death Betty would need more than the 80% of trust income for her care and support.

While such a modification will adversely affect the estranged daughter, modification will nonetheless fulfill the purposes of the trust. Both the 80% payout and the 20% accumulation to principal to provide more income for Betty in the future were primarily intended to benefit her. See Clauses 1 and 2 of the testamentary trust. In fact, Clause 1 states that the "primary purpose in creating this trust is to ensure there will be sufficient funds to provide for [my wife's] care and support for the rest of her life." See Restatement (Third) of Trusts § 66 illustration 2 (specifically rationalizing a modification to invade principal for the benefit of the income beneficiary in part on the income beneficiary's being the primary object of the testator's bounty). That Betty's support is the primary purpose of the trust is further evidenced by Clause 3 making clear that the principal was left to the daughter from whom the testator was estranged only for lack of other relatives and to avoid having the trust property escheat to the state at Betty's death. In other words, the testator was not primarily interested in conferring a benefit upon his estranged daughter.

Thus, a court could find that Betty's nursing-home expenses represent an unanticipated change in circumstances and that allocating all trust income to her would best comport with the testator's probable intentions and the primary purposes of the trust. The court could thus authorize the trustee to pay all trust income to Betty without the consent of other trust beneficiaries (i.e., the daughter).

JULY 2023 MEE
ANALYSIS 4 – CIVIL PROCEDURE

CIV (I.A.; V.A.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Is a statute of limitations defense properly presented to the court when it is raised in a motion for summary judgment but not in the answer to the complaint?
- (2) Should a federal district court grant summary judgment on a breach of contract claim when there is conflicting evidence concerning the content of the contract but the weight of the evidence strongly favors a conclusion that there has been a breach?
- (3) Can a case proceed in federal court when the admitted facts in the pleadings reveal an absence of subject-matter jurisdiction but the parties failed to raise the issue?

DISCUSSION

Summary

A statute of limitations defense is an affirmative defense that must be raised in a defendant's answer. If it is not raised in the answer, it is forfeited. Here, Tech did not raise the defense in its answer, so the court should treat the defense as forfeited.

If the court rules on the motions for summary judgment concerning the question of breach of contract, it should deny both motions. There is a genuine dispute about a material fact (whether the contract covered all menu items or only combination-meal menu items), and both parties have offered evidence on the issue. Although one party's evidence appears much stronger than the other's, the judge should not consider the credibility of the witnesses or weigh the value of the evidence when deciding a summary judgment motion.

However, the court should refuse to decide either motion for summary judgment. Instead, it should, *sua sponte*, dismiss the case for lack of subject-matter jurisdiction. Here, although Diner alleges that the court has diversity jurisdiction, the facts contained in the complaint (and admitted by Tech) show that both corporations have their principal places of business in State A. Because a corporation is a citizen of the state where it has its principal place of business (as well as being a citizen of the state of incorporation), both corporations are citizens of State A. For that reason, diversity jurisdiction does not exist, and the district court should take note of that fact and dismiss the case.

Point One (25%)

A statute of limitations defense is an affirmative defense that is forfeited if it is not raised in a defendant's answer. Thus, Tech did not properly raise that defense when it asserted it for the first time in a motion for summary judgment.

When filing an answer to a complaint in federal district court, a defendant must “affirmatively state any avoidance or affirmative defense, including . . . statute of limitations . . .” Fed. R. Civ. P. 8(c)(1). Although the Federal Rules do not specify the consequences of a party's failure to plead an affirmative defense, “[i]t is a frequently stated proposition of virtually universal acceptance by the federal courts that a failure to plead an affirmative defense as required by Federal Rule 8(c) results in the waiver of that defense and its exclusion from the case.” Charles Alan Wright, Arthur R. Miller & A. Benjamin Spencer, *Federal Practice and Procedure* § 1278 (2021). The Supreme Court has similarly stated that “[o]rdinarily in civil litigation, a statutory time limitation is forfeited if not raised in a defendant's answer or in an amendment thereto.” *Day v. McDonnough*, 547 U.S. 198, 201 (2006). Applying this basic rule, Tech's motion for summary judgment based on the statute of limitations did not properly raise the defense because the defense was forfeited when Tech failed to raise it in its answer.

[NOTE: The district court could, if requested, grant Tech leave to amend its answer to add the statute of limitations defense. The Federal Rules empower district courts to allow parties to amend their pleadings and direct that leave to amend should be “freely” given “when doing so will aid in presenting the merits” and the objecting party has not persuaded the court that it will be prejudiced. Fed. R. Civ. P. 15(b). However, no such request has been made here. Moreover, this point was not raised by the question prompt.]

Point Two (35%)

Assuming that the district court addresses the merits of the competing motions, it should deny both parties' motions for summary judgment with respect to the breach of contract claim because there is a disputed issue of material fact: whether the contract to produce a voice-recognition ordering system covered all menu items or only combination menu items.

Assuming that the district court addresses the merits of the competing motions, the analysis is as follows.

“The court shall grant summary judgment if the movant shows that there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law.” Fed. R. Civ. P. 56(a). The party moving for summary judgment “bears the initial responsibility of informing the district court of the basis for its motion” and must identify “those portions of [the record] . . . which it believes demonstrate the absence of a genuine issue of material fact.” *Celotex Corp. v. Catrett*, 477 U.S. 317, 323 (1986). The nonmoving party can then avoid summary judgment only if it responds with admissible evidence of “specific facts showing that there is a genuine issue for trial.” *Id.* at 324; *see also* Fed. R. Civ. P. 56(c). “On a motion for summary judgment, facts must be viewed in the light most favorable to the nonmoving party . . . if there is a genuine dispute as to those facts.” *Ricci v. DeStefano*, 557 U.S. 557, 586 (2009) (quotation omitted).

Here the parties presented evidence revealing a disputed fact material to whether a breach occurred: whether the agreement obligated Tech to provide a voice-recognition system that covered “all” menu items or only “combination meal” menu items. Tech submitted the affidavit testimony of its president, while Diner offered the contrary deposition testimony of eight witnesses, including two witnesses who were actually Tech employees.

Despite the apparent strength of Diner’s evidence when compared to Tech’s evidence, “credibility determinations, the weighing of the evidence, and the drawing of legitimate inferences from the facts are jury functions, not those of a judge.” *Reeves v. Sanderson Plumbing Prods., Inc.*, 530 U.S. 133, 150 (2000), quoting *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 255 (1986). In other words, whatever the district court may think about the strength of either party’s evidence, the conflicting evidence means that there is a genuine dispute about whether the contract obligated Tech to provide a voice-recognition system that covered all menu items. That fact is material, indeed critical, to the breach of contract claim. Summary judgment on that claim is therefore inappropriate.

Point Three (40% total weight)

The district court should, *sua sponte*, determine whether it has subject-matter jurisdiction. Although Diner’s complaint alleges, and Tech’s answer admits, the existence of diversity jurisdiction, the undisputed facts establish that diversity jurisdiction does not exist. Thus, the court lacks subject-matter jurisdiction and must dismiss the complaint.

(a) *Sua sponte* determination (20%)

Diner’s complaint alleges that the court has diversity jurisdiction over its claim because Diner is incorporated in State C and Tech is incorporated in State D. Tech admits the allegation that there is diversity. But the federal courts are courts of limited jurisdiction, and “no action of the parties can confer subject-matter jurisdiction upon a federal court. Thus, the consent of the parties is irrelevant.” *Insurance Corp. of Ireland, Ltd. v. Compagnie des Bauxites de Guinee*, 456 U.S. 694, 701 (1982). *See also Sosna v. Iowa*, 419 U.S. 393, 398 (1975) (“While the parties may be permitted to waive nonjurisdictional defects, they may not by stipulation invoke the judicial power of the United States in litigation which does not present an actual ‘case or controversy’ . . .”).

Federal courts are expected to police subject-matter jurisdiction “on their own initiative even at the highest level.” *Ruhrgas AG v. Marathon Oil Co.*, 526 U.S. 574, 583 (1999). Even when neither party raises the issue, a district court has “an obligation to inquire *sua sponte* into [its] ability to exercise subject matter jurisdiction.” *DuLaurence v. Telegen*, 94 F. Supp. 3d 73, 78 (D. Mass. 2015). Moreover, a district court must dismiss an action if “the court determines at any time that it lacks subject-matter jurisdiction.” Fed. R. Civ. P. 12(h)(3).

The district court should therefore *sua sponte* raise and determine the question of its subject-matter jurisdiction.

(b) No subject-matter jurisdiction (20%)

Diner’s complaint asserts that the court has diversity jurisdiction. Federal district courts have subject-matter jurisdiction in diversity cases when “the matter in controversy exceeds the sum or value of \$75,000 . . . and is between . . . citizens of different States.” 28 U.S.C. § 1332(a). In this case, although the amount-in-controversy requirement is met, the requirement that the parties be “citizens of different States” is not satisfied.

The statute designates a corporation’s citizenship to be of the state of its incorporation as well as of the state “where it has its principal place of business.” 28 U.S.C. § 1332(c). The Supreme Court has “conclude[d] that the phrase ‘principal place of business’ refers to the place where the corporation’s high level officers direct, control, and coordinate the corporation’s activities.” *Hertz Corp. v. Friend*, 559 U.S. 77, 80–81 (2010).

Diner’s complaint asserts that there is diversity jurisdiction because the two corporations are incorporated in different states. But the complaint also says (in paragraph 3) that each of the two corporations has its principal place of business in State A. Moreover, Tech has admitted this allegation. As noted above, corporations are citizens of the state where they are incorporated and also of the state where they have their principal place of business. Thus, a lack of diversity is obvious from the face of the pleadings, as both corporations have alleged (or admitted) facts that establish that both are citizens of State A. The court should therefore dismiss the complaint.

Furthermore, the court must dismiss the case without ruling on the motions for summary judgment. Because it lacks jurisdiction, it has no authority to proceed with the case.

[NOTE: After the court recognizes the apparent subject-matter deficiency but before it decides whether to dismiss the lawsuit on jurisdictional grounds, it might first ask the parties to address the question of subject-matter jurisdiction in briefing or oral argument.]

JULY 2023 MEE
ANALYSIS 5 – SECURED TRANSACTIONS

SEC (I.B.; II. D.; F.; III.B.; IV.A., B., F.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

(1)(a) Does Supplier, who sold a machine to Company on credit pursuant to an arrangement under which Supplier retained title to the machine until the full price was paid, have an enforceable interest in the machine?

(1)(b) Does Lender, to whom Company granted a security interest in “all of Company’s personal property,” have an enforceable security interest in the machine?

(1)(c) Does BigBank, to whom Company granted a security interest in “all of Company’s present and future equipment,” have an enforceable security interest in the machine?

(2) Between the enforceable interests of Supplier and BigBank, whose interest in the machine has priority?

DISCUSSION

Summary

Notwithstanding the agreement under which Supplier purported to retain title to the machine, its interest in the machine is limited to a security interest. All three elements of enforceability of a security interest are satisfied (value has been given, the debtor has rights in the collateral, and the debtor has authenticated a security agreement containing a description of the collateral), so Supplier’s security interest in the machine is enforceable.

Lender does not have an enforceable security interest in the machine. In order for a nonpossessory security interest to be enforceable, the debtor (Company) must have, inter alia, authenticated (signed or its electronic equivalent) a security agreement containing a description of the collateral. UCC Article 9 provides that a “supergeneric” description of collateral, such as “all of the debtor’s personal property,” is an insufficient description in a security agreement. Because the description of the collateral in Lender’s security agreement is insufficient, its security interest is not enforceable.

BigBank has an enforceable security interest in all of Company's present and future equipment because all three elements of enforceability are satisfied. Because the machine is equipment, BigBank has an enforceable security interest in the machine.

BigBank's security interest in the machine is perfected, while that of Supplier is unperfected because Supplier never filed a financing statement covering the machine. Therefore, BigBank's security interest has priority over that of Supplier.

Point One(a) (30%)

Supplier's retention of title to the machine is a security interest in the machine, and all the elements for enforceability are satisfied.

While Supplier and Company described their transaction with respect to the machine as one in which Supplier was agreeing to sell the machine to Company but would retain title to it until Company finished paying the purchase price, the Uniform Commercial Code treats such an arrangement as a credit sale in which the buyer's payment obligation is secured by a security interest in the goods sold. UCC § 2-401(1) states in relevant part that "[a]ny retention or reservation by the seller of the title (property) in goods shipped or delivered to the buyer is limited in effect to reservation of a security interest." Similarly, UCC § 1-201(b)(35), the UCC's definition of "security interest," states in relevant part, "The retention or reservation of title by a seller of goods notwithstanding shipment or delivery to the buyer under Section 2-401 is limited in effect to reservation of a 'security interest.'" Thus, the interest retained by Supplier in the machine is a security interest.

In order for Supplier's security interest to be enforceable, the three criteria in UCC § 9-203(b) must be satisfied. First, "value" must be given. UCC § 9-203(b)(1). Here, the agreement of Supplier to transfer the machine to Company in exchange for a down payment and the promise of future payments constituted value. See UCC § 1-204. Second, the debtor (Company) must have rights in the collateral (or the power to transfer rights). UCC § 9-203(b)(2). Here, once Company acquired the machine pursuant to the terms of the transaction, it had rights in it (regardless of whether its rights constituted ownership). Third, the debtor must have authenticated a security agreement containing a description of the collateral or the collateral must be in possession of the secured party. UCC § 9-203(b)(3)(A)–(B). (There are two other substitutes for an authenticated security agreement in UCC § 9-203(b)(3), but they are not germane here.) In this case, the signed agreement between Company and Supplier is a "security agreement" under UCC § 9-102(a)(74) because it "creates or provides for a security interest." In addition, the agreement contains a description of the collateral, the machine. Thus, Supplier has an enforceable security interest in the machine.

[NOTE: While it is correct that the security interest of Supplier is a purchase-money security interest, this is not relevant to the determination of whether the security interest is enforceable.]

Point One(b) (30%)

Lender does not have an enforceable security interest in the machine because Lender does not have possession of the machine and Company did not authenticate a security agreement containing an effective description of the collateral.

The loan agreement between Company and Lender (which constitutes a “security agreement” under UCC § 9-102(a)(74)) covers “all of Company’s personal property.” The machine is personal property, so the loan agreement purports to create a security interest in the machine. But, under UCC § 9-203(b), a security interest becomes enforceable only when each of three requirements has been satisfied. First, “value” must be given. UCC § 9-203(b)(1). Here, the loan of \$1,000,000 constituted value. *See* UCC § 1-204. Second, the debtor (Company) must have rights in the collateral (or the power to transfer rights). UCC § 9-203(b)(2). Here, once Company acquired the machine, it had rights in it (regardless of whether its rights constituted ownership). The third requirement is satisfied if either the debtor has authenticated a security agreement containing a description of the collateral or the collateral is in possession of the secured party. UCC § 9-203(b)(3)(A)–(B). (There are two other possibilities stated in UCC § 9-203(b)(3), but they are not germane here.)

Lender does not have possession of the machine, so its security interest is enforceable only if Company has authenticated a security agreement containing a description of the collateral. The loan agreement constitutes an authenticated (i.e., signed or its electronic equivalent; *see* UCC § 9-102(a)(7)) security agreement (i.e., an agreement creating or providing for a security interest; *see* UCC § 9-102(a)(74)), but it does not contain a sufficient description of the collateral. The standards for what constitutes a sufficient description are found in UCC § 9-108. UCC § 9-108(a) states that “a description . . . is sufficient, whether or not it is specific, if it reasonably identifies what is described.” Subsection (c) states that “[a] description of collateral as ‘all the debtor’s assets’ or ‘all the debtor’s personal property’ or using words of similar import does not reasonably identify the collateral.” The description of the collateral in the security agreement here is identical to what is stated in subsection (c) as not reasonably identifying the collateral. Accordingly, the security agreement does not satisfy the criterion in UCC § 9-203(b)(3)(A) that there be a security agreement authenticated by the debtor that contains a description of the collateral. Therefore, Lender does not have an enforceable security interest in the machine.

[NOTE: An examinee might point out that “all of Company’s personal property” would be a sufficient indication of collateral in a financing statement. *See* UCC § 9-504(2). This is true, but it is irrelevant to the question of whether Lender has an enforceable security interest in the machine.]

Point One(c) (10%)

BigBank has an enforceable security interest in the machine.

The loan agreement between Company and BigBank (which constitutes a “security agreement” under UCC § 9-102(a)(74)) covers “all of Company’s present and future equipment.” The machine is equipment (*see* UCC § 9-102(a)(33)), so the loan agreement purports to create a security interest in the machine.

Here, all three elements of enforceability under UCC § 9-203(b) are satisfied. First, the loan of \$750,000 constituted “value,” satisfying UCC § 9-203(b)(1). Second, the debtor has rights in the machine, satisfying UCC § 9-203(b)(2). Third, the debtor, Company, has authenticated (here, signed) the loan agreement, which constitutes a security agreement because it creates or provides for a security interest. In this case, unlike Lender’s security agreement, the security agreement contains an effective description of the collateral. Under UCC § 9-108(b)(3), a description reasonably identifies the collateral if it identifies the collateral by “a type of collateral defined in [the UCC].” Because equipment is a type of collateral defined in the UCC, the description of the collateral as equipment reasonably identifies it. Therefore, the third criterion of enforceability has been satisfied.

Point Two (30%)

Between the interests of Supplier and BigBank, the security interest of BigBank has priority over the security interest of Supplier because a perfected security interest has priority over an unperfected security interest.

To determine the relative priority of two security interests in the same item of collateral, it must be determined whether each security interest was perfected. Pursuant to UCC § 9-308, a security interest is perfected if it has “attached” and the applicable additional steps for perfection have been satisfied. A security interest attaches when it becomes enforceable unless there was an agreement to delay attachment, which does not appear in these facts. Thus, since the security interests of both Supplier and BigBank attached to the machine (*see* Points One(a) and One(c)), each of the security interests would be perfected if the applicable additional steps were taken. In the context of the collateral here—the machine—the applicable additional step would be satisfied either if the secured party had possession of the collateral or if a financing statement with respect to the collateral was filed. UCC §§ 9-308, 9-310(a). Supplier neither had possession of the machine nor had filed a financing statement with respect to it. Therefore, Supplier’s enforceable and attached security interest was not perfected.

On the other hand, BigBank filed a financing statement with respect to its security interest in the proper filing office on May 4. The financing statement contained the three required items of information—the name of the debtor, the name of the secured party, and an indication of the collateral. UCC § 9-502(a). An indication of collateral is sufficient if it identifies the collateral by a type of collateral defined in the Uniform Commercial Code. *See* UCC §§ 9-504(1) and 9-108. Equipment is a type of collateral defined under § 9-102(a)(33), and thus the indication of collateral is sufficient and the financing statement was effective to perfect BigBank’s security interest. *See* UCC § 9-310.

Priority between a perfected security interest and an unperfected security interest in the same item of collateral is governed by UCC § 9-322(a)(2). Pursuant to that provision, a perfected security interest has priority over a conflicting unperfected security interest in the same collateral. Therefore, because BigBank’s security interest in the machine was perfected, while the security interest of Supplier was unperfected, the security interest of BigBank has priority.

[NOTE: An examinee might state that, because Supplier’s security interest is a purchase-money security interest, it is perfected upon attachment without the need for the secured party to file a

financing statement or take possession of the machine. This is incorrect. Only purchase-money security interests in consumer goods qualify for this special rule.

Because Lender does not have an enforceable security interest, it cannot have a perfected security interest. Accordingly, any discussion of whether the financing statement filed by Lender is sufficient is irrelevant.]

JULY 2023 MEE
ANALYSIS 6 – CRIMINAL LAW & PROCEDURE

CRM (V.A., B.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

- (1) Should the trial court apply *Miranda* to suppress Adam’s incriminating statement to Officer One?
- (2) Should the trial court apply *Miranda* to suppress Ben’s incriminating statement to Officer Two?
- (3) Should the trial court apply *Miranda* to suppress Carl’s incriminating statement to Officer Three?
- (4) Should the trial court apply *Miranda* to suppress Dillon’s incriminating statement to Cellmate?

DISCUSSION

Summary

The trial court should deny each motion. The trial court should not suppress Adam’s statement on *Miranda* grounds because, although Officer One interrogated Adam at the scene, Adam was not formally arrested or restrained to the degree of arrest at the time he made the incriminating statement to Officer One.

The trial court should not suppress Ben’s statement on *Miranda* grounds because, although Ben was under custodial arrest and Officer Two’s *Miranda* warning was substantively flawed, Ben offered his incriminating statement voluntarily without interrogative prompting.

The trial court should not apply *Miranda* to suppress Carl’s incriminating statement to Officer Three because the officer gave Carl a valid *Miranda* warning, Carl did not unambiguously and unequivocally invoke his right to have his attorney present for questioning, and Carl implicitly waived his right to remain silent and his right not to be questioned without his attorney when he responded to Officer Three’s final question.

Finally, the trial court should not suppress Dillon’s statement to Cellmate on *Miranda* grounds because, although Cellmate was a police agent who encountered and questioned Dillon at police direction, jailhouse confessions to fellow inmates do not implicate *Miranda*.

Introduction: The Miranda standard (10%)

Extrapolating from a criminal defendant's Fifth Amendment right not to be compelled to testify against himself, the Supreme Court held in *Miranda v. Arizona* that specific warnings must be given before a suspect's statement made during custodial interrogation can be admitted into evidence in the trial against the suspect. 384 U.S. 436, 478–79 (1966). Specifically, the Court held that “the prosecution may not use statements, whether exculpatory or inculpatory, stemming from custodial interrogation of the defendant unless [the prosecution] demonstrates the use of procedural safeguards effective to secure the privilege against self-incrimination.” *Id.* at 444. The Court reaffirmed this bright-line requirement in *Dickerson v. United States*, 530 U.S. 428, 431–32 (2000), prohibiting Congress's effort to alter it. The *Miranda* decision and the Supreme Court cases that have interpreted and applied it continue to govern the admissibility of statements made during custodial interrogation in both state and federal courts. *Dickerson*, 530 U.S. at 432.

[NOTE: The preceding paragraph articulates the basic standard of law of *Miranda* that applies to each of the four parts of this question. A complete answer must include the standard but need not repeat it in each of the four parts of the analysis.]

Point One (25%)

The trial court should not apply *Miranda* to suppress Adam's incriminating statement to Officer One because Adam was not in custody at the time of the questioning.

The trial court should not apply *Miranda* to suppress Adam's incriminating statement to Officer One. Two elements are necessary to trigger a potential *Miranda* violation: custody and interrogation. The focus here will be on the first—custody—because Officer One's question about Adam's whereabouts constituted interrogation, i.e., was intended to elicit an answer that would inform the officer's suspicion about whether Adam had been involved in a crime.

Not every detention by police constitutes “custody.” Custody, for *Miranda* purposes, exists when either a formal arrest has occurred or police have restrained a person's freedom of movement to the degree associated with a formal arrest. *California v. Beheler*, 463 U.S. 1121, 1125 (1983) (per curiam). For the following reasons, the circumstances here do not establish custody under either of the two alternatives.

First, Officer One did not formally arrest Adam before questioning him. The facts demonstrate only that the officer “planned” to arrest Adam, not that he actually arrested him at this time. And Officer One's intent is insufficient, and indeed irrelevant, because an uncommunicated intent of a police officer to prevent a suspect from leaving the scene of an investigative stop does not constitute custody under *Miranda*: “A policeman's unarticulated plan has no bearing on the question whether a suspect was ‘in custody’ at a particular time; the only relevant inquiry is how a reasonable man in the suspect's position would have understood his situation.” *Berkemer v. McCarty*, 468 U.S. 420, 442 (1984).

Second, Officer One did not restrain Adam's freedom of movement to the degree associated with a formal arrest. The Supreme Court has acknowledged the imprecision of this part of the analysis, observing that “police and lower courts will continue occasionally to have difficulty deciding exactly when a suspect has been taken into custody.” *Id.* at 441. Whether a suspect is in

custody under this alternative turns on an objective, two-part inquiry. The first is, “[W]hat were the circumstances surrounding the interrogation[?]” and the second is, “[G]iven those circumstances, would a reasonable person have felt he or she was at liberty to terminate the interrogation and leave[?]” *J.D.B. v. North Carolina*, 564 U.S. 261, 270 (2011) (quoting *Thompson v. Keohane*, 516 U.S. 99, 112 (1995)).

Several circumstances here may argue for a finding that Adam was in custody at the time he answered Officer One’s interrogative question about where he had been. Specifically, it was late at night, the officers were secretly investigating suspicions about the car’s occupants’ potential involvement in burglary, Officer One had pat-searched Adam, Officer One had taken Adam’s driver’s license, and Officer One had told Adam to “hold on here a couple of minutes” and that he was “not free to leave.” These are facts that the court will consider both when assessing the circumstances surrounding Officer One’s brief interrogation of Adam and when considering how the circumstances might bear on a reasonable person’s belief about his freedom to leave.

But it is highly unlikely that a court would hold that these circumstances constitute a de facto arrest implicating Adam’s *Miranda* rights. The court will consider the totality of the circumstances and should conclude that, before Adam gave his incriminating answer, Officer One had not restrained Adam’s freedom of movement to the degree associated with a formal arrest. Stopping the car, directing Adam out of the car, and pat-searching Adam for weapons after seeing a bulge are not indicia of a formal arrest. This conduct constitutes a common investigative stop under *Terry v. Ohio*, 392 U.S. 1 (1968). See *Pennsylvania v. Mimms*, 434 U.S. 106, 109–12 (1977) (per curiam) (police do not violate a driver’s Fourth Amendment rights by stopping a car, removing the driver, and conducting a pat search for weapons on mere reasonable suspicion). And “[t]he temporary and relatively nonthreatening detention involved in a traffic stop or *Terry* stop . . . does not constitute *Miranda* custody.” *Maryland v. Shatzer*, 559 U.S. 98, 113 (2010). Additionally, the officer told Adam that he would be free to leave within a few minutes and assured Adam that his release did not depend on whether he answered questions. The stop was justified based on a headlight violation, and its duration of 10 minutes (before the arrest of all four men) was not so lengthy as to make the occupants feel that they were restrained to the degree of a formal arrest.

The trial court should conclude that Adam was not in custody when Officer One questioned him about his whereabouts. The officer’s questioning therefore did not implicate Adam’s *Miranda* rights, and the trial court should therefore not suppress Adam’s statement on *Miranda* grounds.

[NOTE: The fact that Adam responded, “I say nothing without a lawyer,” adds nothing to the custody analysis. It is true that this sort of statement would require a police custodial interrogation to end, see *Miranda*, 384 U.S. at 473–74, but the issue here is not whether Adam asserted his right to silence under *Miranda* but whether the circumstances at the time of the interrogation even implicated his rights under *Miranda*. They did not.]

Point Two (25%)

The trial court should not apply *Miranda* to suppress Ben’s incriminating statement to Officer Two because Ben offered his statement voluntarily without interrogative prompting.

The trial court should not apply *Miranda* to suppress Ben’s incriminating statement to Officer Two. As stated, two elements are necessary to trigger a potential *Miranda* violation: custody and interrogation. The focus here will be on the second—interrogation—since Ben made his incriminating statement only after the police had formally placed him under arrest, meeting the custody element.

It is true that Officer Two provided an inadequate *Miranda* warning. “Prior to any questioning, the person must be warned that he has a right to remain silent, that any statement he does make may be used as evidence against him, and that he has a right to the presence of an attorney, either retained or appointed.” *Miranda*, 384 U.S. at 444. Officer Two vaguely stated that Ben had “all the rights the Constitution gives you” and “any *Miranda* rights you might have.” By so doing, Officer Two failed to adequately advise Ben of his specific rights articulated in *Miranda*. But this failure to provide a valid *Miranda* warning is of no consequence here. An invalid warning supports suppressing a statement by an arrested suspect only if the statement results from the officer’s interrogation, and that did not occur here.

In this case, Officer Two’s only question was whether Ben understood his rights. This does not qualify as interrogation, which is “any words or actions on the part of the police (other than those normally attendant to arrest and custody) that the police should know are reasonably likely to elicit an incriminating response from the suspect.” *Rhode Island v. Innis*, 446 U.S. 291, 301 (1980). Asking whether a suspect understands his rights is not a question that an officer would think is reasonably likely to elicit an incriminating response. Without hearing any interrogating question, Ben voluntarily offered, “I’ll admit that me and my buddies broke into the pharmacy a few weeks ago.” Because Ben’s incriminating response was not the product of police interrogation, the trial court should not suppress Ben’s statement on *Miranda* grounds.

Point Three (25%)

The trial court should not apply *Miranda* to suppress Carl’s incriminating statement to Officer Three because the officer gave Carl a valid *Miranda* warning, Carl did not unambiguously and unequivocally invoke his right to remain silent, and Carl implicitly waived that right.

The trial court should not apply *Miranda* to suppress Carl’s incriminating statement to Officer Three even though the conditions of custody and interrogation are present here. Carl made his incriminating statement only after police formally placed him under arrest and issued a valid *Miranda* warning, and Officer Three’s question, “Were you involved in the burglary,” was reasonably likely to elicit an incriminating response, meeting the interrogation element. However, Carl failed to invoke his right to remain silent, and he waived that right.

Officer Three’s warning meets all the particulars required by *Miranda*. He advised Carl, “You have the right to remain silent. Anything you say can be used against you in a court of law. You have the right to an attorney and to have the attorney with you for questioning. If you cannot

afford an attorney, one will be provided for you.” This is nearly identical to *Miranda*. Thus Officer Three issued a valid *Miranda* warning.

Carl did not properly invoke his *Miranda* rights. An officer must “scrupulously honor[]” a suspect’s invocation of his rights not to be questioned without counsel and to remain silent, so an officer violates a suspect’s *Miranda* rights by failing to cease questioning immediately after a suspect in custody invokes either of these rights. *Michigan v. Mosley*, 423 U.S. 96, 103–04 (1975) (right to remain silent). But the suspect does not effectively invoke this right unless he asserts the right in a manner that is neither ambiguous nor equivocal. *Davis v. United States*, 512 U.S. 452, 459 (1994) (right to counsel). Here, Carl sat in silence for two hours, staring at Officer Three rather than responding to his questions. Carl did not unambiguously invoke his right to remain silent during this time frame. The Supreme Court has rejected the theory that a suspect exercises his right to remain silent by being silent. In *Berghuis v. Thompson*, the Court considered a suspect who remained mostly silent for three hours, and it held that, because the suspect “did not say that he wanted to remain silent or that he did not want to talk with the police,” he did not invoke his right to remain silent. 560 U.S. 370, 382 (2010). The trial court would apply *Berghuis* to a shorter period of silence (two hours) in which Carl also did not say he was invoking the right, and it should therefore hold that Carl did not invoke his right to remain silent.

Finally, that Carl did not invoke his right to remain silent does not end the inquiry because statements made after a valid *Miranda* warning are nevertheless inadmissible unless the government shows that the suspect knowingly, intelligently, and voluntarily waived his right to remain silent. *Maryland v. Shatzer*, 559 U.S. 98, 104 (2010). However, unlike a suspect’s invocation of his right to remain silent, a suspect’s waiver of the right to counsel may be merely inferred from his actions and words. *North Carolina v. Butler*, 441 U.S. 369, 373 (1979) (waiver of right to remain silent or of right to counsel may be inferred). A suspect knows his right to remain silent if he understands the right, and his understanding may be inferred from the facts that he received a written copy of the *Miranda* warnings, that he knew how to read them, and that he had time to read them. *See Berghuis*, 560 U.S. at 385–86. Here, Carl heard the warnings, received them in writing, and read them. In addition, he expressly told the officer that he understood them. The court should conclude that Carl understood his rights.

Like a suspect’s understanding of his rights, his act of waiving can also be inferred from “a course of conduct indicating waiver.” *Id.* at 386. And his responding with an answer to an investigator’s questioning will ordinarily constitute such a course of conduct. *Id.* Here, the trial court will infer that Carl waived his right to remain silent by responding to Officer Three’s final question. The only other possible bar to allowing the statement as evidence would be police coercion to induce the waiver, *id.*, but nothing in these facts remotely suggests police coercion.

The trial court should therefore not suppress Carl’s statement on *Miranda* grounds.

Point Four (15%)

The trial court should not apply *Miranda* to suppress Dillon’s incriminating statement to Cellmate because, although Cellmate was a police agent who encountered and questioned Dillon on police direction, jailhouse confessions to fellow inmates do not implicate *Miranda*.

The trial court should not apply *Miranda* to suppress Dillon's incriminating statement to Cellmate. "*Miranda* was not meant to protect suspects from boasting about their criminal activities in front of persons whom they believe to be their cellmates." *Illinois v. Perkins*, 496 U.S. 292, 298 (1990). The Supreme Court reasoned that "[p]loys to mislead a suspect or lull him into a false sense of security that do not rise to the level of compulsion or coercion to speak are not within *Miranda*'s concerns." Here, the facts that Cellmate was paid by and serving as an agent of the police are facts that mirror those the Court considered in *Perkins* and therefore do not help Dillon's *Miranda* claim. Consequently, the trial court should not suppress Dillon's statement on *Miranda* grounds.

[NOTE: A person incarcerated and charged with a crime may have the protection of the Sixth Amendment right to counsel, not merely the Fifth Amendment right against compelled self-incrimination as protected by *Miranda*'s prophylactic rule requiring an express warning. Examinees should not discuss the Sixth Amendment, however, because the question calls only for analysis under the Fifth Amendment and *Miranda*. Dillon had no Sixth Amendment right to counsel before he spoke with Cellmate because the Sixth Amendment affords only the "accused" the right to counsel in "all criminal prosecutions," and the right does not attach until a prosecution commences. See *McNeil v. Wisconsin*, 501 U.S. 171, 175 (1991). The Court has established that "[A] criminal defendant's initial appearance before a judicial officer, where he learns the charge against him and his liberty is subject to restriction, marks the start of adversary judicial proceedings that trigger attachment of the Sixth Amendment right to counsel." *Rothgery v. Gillespie County, Tex.*, 554 U.S. 191, 213 (2008). Because Dillon did not face charges until two days after his arrest (and after his encounter with Cellmate), and he had not yet appeared in a judicial proceeding, he had no Sixth Amendment right to counsel at the time he made his incriminating statement to Cellmate.]

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FEBRUARY 2024 MEE

QUESTION 1 – AGENCY & PARTNERSHIP

In February, Wendy opened Kibble, a store selling dog food made from organic ingredients as well as dog toys and dog grooming products. Wendy operated Kibble as a sole proprietorship. Kibble soon ran into financial difficulties, and Wendy could not pay its bills.

In early April, Wendy asked her friends Mary and Angelo for financial assistance.

On May 1, in response to Wendy's request, Mary delivered to Wendy a check payable to "Kibble." In exchange for this contribution, Wendy agreed in a signed writing to pay Mary 15% of Kibble's monthly profits for as long as Kibble remained in business. Mary also agreed that, if Kibble suffered losses, she would share 15% of those losses with Wendy.

As part of their deal, Mary began working at the store with Wendy and helped Wendy with business planning for Kibble.

On May 2, also in response to Wendy's request, Angelo delivered to Wendy a check payable to "Kibble." On the memo line of this check, Angelo wrote "loan to Kibble." Angelo agreed in a signed writing to accept 15% of the monthly profits of Kibble as repayment of the loan until the total loan amount, including interest, was repaid.

Wendy used the proceeds of the checks from Mary and Angelo to purchase equipment, supplies, and a delivery van in Kibble's name.

Beginning in June, Wendy paid 15% of Kibble's previous month's profits to Mary and another 15% to Angelo.

On October 1, Mary wrote a letter to her son Bob stating that she was assigning to Bob, as a gift, all her interest in Kibble effective immediately. Later that day Mary handed a copy of that letter to Wendy, who immediately read it and said to Mary, "I don't want Bob involved with Kibble." Mary continued to be active in the business operations of Kibble.

Early in November, Wendy distributed the appropriate October profits of Kibble to Mary and Angelo but distributed nothing to Bob.

On November 10, Bob demanded that Wendy distribute Mary's share of Kibble's profits to him and that she also allow him to inspect the books and records of Kibble.

On November 15, Mary learned that Wendy was using Kibble's delivery van on Sundays to transport her nieces to their softball games. Mary demanded that Wendy stop doing so, but Wendy refused, noting that the van was not being used for Kibble's business on Sundays.

1. What legal relationships have the parties established through their dealings? Explain.
2. Is Bob entitled to Mary's share of the monthly profits of Kibble? Explain.
3. Is Bob entitled to inspect the books and records of Kibble? Explain.
4. Is Wendy entitled to use the delivery van on Sundays to take her nieces to their softball games? Explain.

FEBRUARY 2024 MEE

QUESTION 2 – CONTRACTS

A wealthy art collector recently died, leaving her entire collection of artworks to Grandson. After receiving the artworks from the estate, Grandson, who did not share his grandmother's interest in art, decided to sell them. With the help of art appraisal experts, he prepared a catalog describing each of the artworks that he hoped to sell. The catalog, a copy of which was given to each person who expressed interest in buying any of the artworks, identified one painting as an early work by Artiste, a prominent American artist who died in 1956 at the age of 78.

Buyer, an art collector who loves the work of Artiste, read the catalog and was intrigued by the possibility of acquiring the painting described as one of Artiste's early works, so he asked to see it in person. Grandson allowed Buyer to examine the painting only visually for up to 30 minutes.

Buyer visually examined the painting for 30 minutes and did not notice anything that caused him to doubt that the painting was a genuine Artiste.

Buyer then told Grandson that he would be willing to pay \$350,000 for "the Artiste painting." Grandson agreed to that price. Grandson and Buyer then executed an "Art Purchase Agreement" prepared by Grandson's lawyer. The Art Purchase Agreement identified the item being sold as a "painting by Artiste" and stated the price as \$350,000. The Art Purchase Agreement also contained a number of conspicuous provisions labeled "Terms and Conditions of Sale." One of those provisions stated that "Seller disclaims all warranties, express or implied."

Shortly after Buyer and Grandson executed the Art Purchase Agreement, Buyer electronically transferred \$350,000 to Grandson's bank account, and Grandson delivered the painting to Buyer.

Three weeks later, Buyer read a news article reporting that several counterfeits of Artiste paintings had recently been sold. The article reported that these counterfeit paintings were of such high quality that mere visual inspection could not detect the counterfeiting; only a chemical analysis could do so. Buyer consulted a professor of art history, who arranged for a chemical analysis of the paints used in the painting bought from Grandson. The analysis revealed that the painting was not the work of Artiste. Because it was not an authentic Artiste painting, it was worth only \$500.

Buyer has sued Grandson, seeking either to recover damages on the theory that Grandson breached an express warranty that the painting was the work of Artiste or, alternatively, to rescind or avoid the purchase contract on the basis of a mutual mistake of fact. Each party has stipulated that the other believed in good faith that the painting was a genuine work of Artiste.

1. Has Grandson breached an express warranty? Explain. (Do not address any remedies to which Buyer may be entitled.)
2. Does Buyer have the right to rescind or avoid the contract on the basis of a mutual mistake of fact? Explain.

FEBRUARY 2024 MEE
QUESTION 3 – EVIDENCE

Cara filed a civil suit against Dana, her former coworker, alleging that Dana had stolen Cara's cell phone from her locker at a gym. The jurisdiction has adopted rules of evidence that are identical to the Federal Rules of Evidence.

At trial, Cara testified during her case-in-chief, stating:

On October 18, I worked out at the gym. After I completed my workout, I returned to the locker room to change clothes and retrieve my belongings from my assigned locker (#344). My locker (#344) was near the entry door to the locker room, and when I walked into the locker room, I saw Dana hurriedly closing the door to my locker. I am positive it was Dana because it was cold and rainy that day and Dana was wearing a heavy, bright orange coat. I had seen Dana wearing that coat several times before at work and the gym. When I got to my locker, my cell phone was not there.

Dana also testified at trial during her case-in-chief, stating:

I definitely worked out at the gym on October 18 because I was training for a marathon. I don't recall seeing Cara at the gym that day. For several reasons, I am also positive that I was not wearing a heavy, bright orange coat. First, I ran on the outdoor track that day because the weather was overcast but not cold and not rainy. Second, as I always do for my track workouts, I ran in shorts and a T-shirt; I never wear a coat or jacket while running on the track. Third, I never take my coat or jacket into the gym; I always leave it in my car so it doesn't take up space in my locker.

Dana also testified as follows:

I'm not surprised that Cara lost her cell phone at the gym. She's pretty careless. At work she often misplaced it, or forgot it in the conference room after a meeting or in the break room after lunch.

Cara objected to this testimony, asserting that it constituted inadmissible character evidence. The judge overruled the objection.

During her rebuttal case, Cara asked the court to take judicial notice of the weather on October 18 based on a certified public record from the federal government's National Weather Service agency. The record was a weather report for October 18 in the area where the gym was located and at the time Cara testified that she was at the gym. According to the record, on October 18 it had rained all day and the high temperature was 41 degrees Fahrenheit (5 degrees Celsius) in the area of the gym.

Dana objected to Cara's request and asked for the opportunity to present an argument that taking judicial notice would be improper. The court immediately overruled Dana's objection and denied her request to be heard. The court took judicial notice of the weather as detailed in the public record.

1. Did the trial court err by denying Dana an opportunity to be heard before it took judicial notice of the weather on October 18? Explain.
2. Assuming that the trial court did not err by denying Dana an opportunity to be heard, did the trial court err by taking judicial notice of the weather on October 18? Explain.
3. Was Dana's testimony that Cara was "careless" inadmissible character evidence? Explain.
4. Was Dana's testimony that Cara often misplaced or forgot her cell phone inadmissible character evidence? Explain.

FEBRUARY 2024 MEE
QUESTION 4 – REAL PROPERTY

On November 1, 2020, a landlord leased an apartment to Tom for \$1,300 per month based on a signed, written "term-of-years lease" for a three-year term to begin on January 1, 2021, and end on December 31, 2023. The lease provided that Tom could neither assign nor sublet the apartment "without the landlord's prior written consent." The lease included no provision stating what would happen if Tom remained in possession beyond the term.

On January 1, 2021, Tom attempted to move into the apartment but could not do so because the prior tenant, Helen, whose lease term had ended on December 31, 2020, still occupied the apartment. Tom immediately notified the landlord that Helen remained in possession. The landlord responded, "I will get rid of her as soon as possible." Tom then booked a hotel room expecting that he would be able to move into the apartment within the next few days. On January 4, the landlord told Tom, "The apartment is now vacant, so you can move in immediately. Also, I will reduce the February rent by \$100 for your inconvenience." Tom promptly moved into the apartment.

About one year later, in January 2022, Tom found a house that he wanted to rent and told the landlord that he wanted to assign his apartment lease to a friend. The landlord conducted a background check on the friend and learned that the friend had a very low credit rating. The landlord told Tom that she would not consent to Tom's proposed assignment. Tom said, "Okay," and he continued living in the apartment.

On January 1, 2024, the day after the lease termination date, Tom was still in possession of the apartment. On January 4, the landlord sent Tom a letter telling him that she was treating him as a periodic tenant subject to all the terms of their original lease, "including the monthly rent of \$1,300," which substantially exceeded the then-current market rate for comparable units. Tom wrote back, "That's unfair. I should have to pay only the current market value. I have remained in the apartment only a few days beyond the lease termination date." The landlord rejected Tom's suggestion and told him that, as a periodic tenant, he would be liable for rent at the rate of \$1,300 for each month of the periodic tenancy.

No statute or local ordinance affects either party's position on any issue.

1. (a) If a court were to hold that Tom could have rightfully terminated the lease because Helen held over on January 1, 2021, what rule would the court apply and what would be the rationale for that rule? Explain.

(b) If a court were to hold that Tom could not have rightfully terminated the lease because Helen held over on January 1, 2021, what rule would the court apply and what would be the rationale for that rule? Explain.
2. Did the landlord rightfully refuse to consent to Tom's proposed assignment of the lease to his friend? Explain.
3. Following Tom's failure to vacate the apartment, could the landlord rightfully treat Tom as a periodic tenant, subject to the provisions of the expired lease? Explain.

FEBRUARY 2024 MEE

QUESTION 5 – CRIMINAL LAW & PROCEDURE

City is located in State A adjacent to the border with State B. One evening, a City police officer stopped a driver.

The next day, the driver posted a social-media video, alleging the following:

Late last night a City police officer stopped my car in City near the state border, supposedly for speeding, and ordered me to get out of the car. The officer made disparaging remarks about a religious sticker on the bumper of my car and ridiculed my religious beliefs. He picked up a rock, threatened me, and asked how fast I could run. I ran about 50 feet and turned to see if he was chasing me. He wasn't, but he threw the rock at me, and it struck me in the face. He laughed and shouted, "Look where you are! There's nothing you can do about it!" I saw that I was standing in State B and the officer was still standing in State A. My lip is busted and swollen. I had to get stitches. I want justice.

The officer was charged with committing various crimes.

City Criminal Charge. A City ordinance provides that "any person who assaults another person because of that person's religious expression commits a serious misdemeanor punishable by up to six months in jail." The City attorney filed a charge alleging that the officer had violated this ordinance by striking the driver with a rock because of the driver's religious beliefs and religious expression.

The officer admitted that the driver's allegations were true and pleaded guilty to the charge filed by the City attorney. The municipal court sentenced the officer to three days in jail.

After his conviction for violating the City ordinance, the officer was charged with four additional crimes. All the additional charges were based on the same incident that led to the officer's prosecution for violating the City ordinance.

State B Criminal Charge. Claiming jurisdiction because the rock thrown by the officer struck the driver in State B, a prosecutor in State B has charged the officer with violating State B's hate-crime statute, which, like City's ordinance, provides for the punishment of "any person who assaults another person because of that person's religious expression." This conduct is a felony punishable by one to two years in prison.

State A Criminal Charges. A prosecutor in State A has charged the officer with two different state-level offenses. First, the officer is charged with violating State A's hate-crime statute, which provides that "any person who assaults another person because of that person's religious expression and thereby causes injury to that person commits a felony punishable by one to five years in prison." Second, the officer is charged with violating a State A assault statute that provides that "any person who assaults another person with intent to cause injury is guilty of a felony punishable by not more than two years in prison."

Federal Criminal Charge. The United States Attorney for the federal district of State A has filed a criminal charge against the officer, alleging that the officer violated a federal statute that makes it unlawful for "any person, acting under color of state or local law, to assault another person because of that person's religious expression." The federal crime is punishable by a term of imprisonment of not more than two years.

1. Is the State B hate-crime prosecution barred by the United States Constitution's double jeopardy clause? Explain.
2. Is the federal hate-crime prosecution barred by the United States Constitution's double jeopardy clause? Explain.
3. Is the State A hate-crime prosecution barred by the United States Constitution's double jeopardy clause? Explain.
4. Is the State A assault prosecution barred by the United States Constitution's double jeopardy clause? Explain.

FEBRUARY 2024 MEE
QUESTION 6 – DECEDENTS’ ESTATES

On September 4, 2010, Testator, who had two living children, George and Harriet, properly executed a valid will. The will contained only these dispositive provisions:

1. I give my 200 shares of ABC Corp common stock, which I inherited from my grandfather, to my cousin, Donna.
2. I give my home to my brother, Edward.
3. I give my grand piano to my sister, Faye.
4. I direct that all my just debts be paid before distributing the foregoing devises.

None of the devises were subject to a survivorship contingency. The will contained no residuary clause.

In 2012, ABC Corp distributed 100 shares of its common stock to Testator as a stock dividend.

In 2015, Testator borrowed \$125,000 to make home renovations. The 20-year loan was secured by a mortgage on Testator's home. Testator was personally liable on this debt.

In 2020, Testator gave \$30,000 to her son, George.

In 2022, Faye, the named beneficiary of the piano in the will, died intestate leaving Testator and Edward as her only heirs.

Three months before Testator died in 2023, her grand piano was substantially damaged. She filed a \$10,000 casualty-loss claim with her insurer for the damage, and the insurer approved the claim. The insurer had not made any payment on the claim at the time of Testator's death, and the damaged piano remained in Testator's home. The insurer agrees that Testator's estate is entitled to \$10,000 on Testator's claim.

Two months before her death, Testator wrote George a letter informing him that the \$30,000 she had given him in 2020 was intended "as an advancement" that would reduce "any share of my estate to which you might ever be entitled."

One month before Testator died, George died survived by his only child, Isaac.

Testator is survived by four relatives: her cousin, Donna; her brother, Edward; her daughter, Harriet; and her grandson, Isaac (George's son).

Testator's estate consists of 300 shares of ABC Corp common stock (the 200 shares she inherited and the 100 shares received as a stock dividend), her home, her piano, \$200,000 in cash, and the \$10,000 owed by the insurer. Testator's only debt at her death was the mortgage loan on the home she devised to Edward.

Faye's estate is still in administration. Her estate's debts are greater than its current assets, and Faye's personal representative is seeking to recover the piano and the insurance proceeds payable to Testator's estate.

The jurisdiction has adopted the Uniform Probate Code.

How should the assets of Testator's estate be distributed? Explain.

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**FEBRUARY 2024 MEE
ANALYSIS 1 – AGENCY & PARTNERSHIP**

AGC (V.A.; VI.; VII.A., B.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) What is the legal relationship among Wendy, Mary, and Angelo?
- (2) Is Bob entitled to Mary's share of the monthly profits of Kibble?
- (3) Is Bob entitled to inspect the books and records of Kibble?
- (4) Is Wendy entitled to use the delivery van on Sundays to take her nieces to their softball games?

DISCUSSION

Summary

Wendy and Mary are general partners in the Kibble partnership, but Angelo is only a creditor of Kibble. As a transferee of Mary's right to receive profits in Kibble, Bob is legally entitled to Mary's share of those profits. However, that assignment does not make Bob a partner. Therefore, Bob does not have a right to inspect the books and records of Kibble. Wendy is not entitled to use the delivery van on Sundays to take her nieces to their softball games.

Point One (35%)

Wendy and Mary are partners in Kibble. Angelo is a creditor of Kibble.

A partnership is defined as "the association of two or more persons to carry on as co-owners a business for profit . . . whether or not the persons intend to form a partnership." Uniform Partnership Act (UPA) (1997) § 202(a); *see also* UPA (1914) § 6(1). Here, a partnership was formed when Mary joined Wendy in running Kibble. Because the partnership was formed without the formalities required of other types of partnerships, it is a general partnership.

Wendy and Mary each receive a share of the profits of Kibble, and each is therefore presumed to be a partner in the business. UPA (1997) § 202(c)(3); UPA (1914) § 7(4). This presumption is supported by the fact that Mary is to receive her share of the profits "for as long as Kibble [remains] in business," and that Wendy and Mary each work in the business and participate in

the business planning for Kibble. Further, Mary agreed to share in any losses that Kibble might suffer. Therefore, Wendy and Mary are partners in the Kibble partnership.

Angelo also receives a share of the profits of Kibble and therefore might also be presumed to be a partner in the partnership. However, this presumption does not apply where those profits are "received in payment of a debt by installment or otherwise." UPA (1997) § 202(c)(3)(i); UPA (1914) § 7(4)(a). The statement on the memo line of Angelo's check is evidence that Angelo loaned money to the partnership. Angelo is entitled to receive a share of the profits of Kibble only until his loan to Kibble (plus interest) is paid in full, and therefore he is not presumed to be a partner in the business. In addition, Angelo did not agree to share in any losses that Kibble might suffer. Further, Angelo does not play any role in the day-to-day operations of Kibble. Angelo is a creditor of Kibble but is not a partner in the partnership.

Point Two (25%)

As the transferee of a legally transferable interest in the partnership, Bob is legally entitled to receive distributions that Mary would otherwise have received.

As a partner in the Kibble partnership (*see* Point One), Mary has a transferable interest in the profits and losses of the partnership and in her right to receive distributions. UPA (1997) § 502; UPA (1914) § 26. The transfer of that interest is permissible and creates in the transferee a right to receive distributions to which the transferor would otherwise be entitled. UPA (1997) § 503(b)(1); UPA (1914) § 27(1). Here, Mary transferred her right to receive a share of the profits of Kibble to Bob when she assigned all her interest in Kibble to him. Therefore, Bob is legally entitled to receive Mary's share of the profits of Kibble.

[NOTE: A partnership need not give effect to a transferee's rights until it has notice of the transfer. UPA (1997) § 503(e). Here, the partnership had such notice because Mary gave Wendy a copy of the letter effecting the transfer. The transfer of a partner's right to profits and losses and the right to receive distributions does not effect a termination or dissolution of the partnership.]

Point Three (25%)

Bob is not entitled to inspect the books and records of Kibble because he is not a partner in Kibble.

As a partner in the Kibble partnership, Mary has a transferable interest in the partnership (*see* Point Two). That interest, however, is limited. For example, a transfer of the partnership interest does not make the transferee a partner unless the other partner or partners consent to making the transferee a partner. Here, such consent was not given because Wendy said, "I don't want Bob involved with Kibble." Therefore, Bob did not become a partner and is not entitled to access information concerning partnership transactions nor to inspect or copy the partnership books or records. UPA (1997) § 503(a)(3); UPA (1914) § 27(1).

Point Four (15%)

The delivery van is partnership property, and Wendy is not entitled to use it on Sundays to take her nieces to their softball games.

Property is partnership property if it is acquired in the name of the partnership. UPA (1997) § 204(a)(1); UPA (1914) § 8(1). Partnership property is property of the partnership and not of the partners individually. UPA (1997) § 203; UPA (1914) § 25(1). Though partners may use partnership property for partnership purposes, they may not use it for their own purposes. UPA (1997) § 401(g) (§ 401(i) in 2013 rev.); UPA (1914) § 25(2)(a). Here, the delivery van was purchased in the partnership's name and, therefore, is partnership property and not Wendy's individual property. The facts do not suggest that the partners agreed that Wendy could use the delivery van for her own purposes on Sundays, and, absent such an agreement, Wendy is not entitled to use it to take her nieces to their softball games even if the partnership is not using the van on Sundays.

[NOTE #1: Wendy's use of the delivery van could be analyzed through the lens of fiduciary duty. It could be argued that Wendy has violated her duty of loyalty by using the van because it is partnership property. *See, e.g.*, UPA (1997, revised 2013) § 409(b)(1)(B).]

[NOTE #2: The partnership was not dissolved when Mary transferred her interest to Bob. Under § 27 of the UPA (1914) and § 503 of the UPA (1997), the transfer of all or any part of a partner's interest is not a dissolution of the partnership. Thus, Mary's gift to her son Bob of her interest in the partnership does not dissolve the partnership.]

**FEBRUARY 2024 MEE
ANALYSIS 2 – CONTRACTS**

CTR (II.C.; IV.E.; V.E.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1)(a) What body of contract law governs a contract for the sale of a painting?
- (1)(b) Does a representation that a painting was produced by a particular artist create an express warranty that the painting was, in fact, produced by that artist?
- (1)(c) Is contract language that purports to disclaim "all warranties, express or implied" adequate to disclaim an express warranty that a painting is by a particular artist?
- (2)(a) Where the parties to a contract for the sale of a painting are both mistaken about the identity of the artist who produced the painting, is there a mistake of fact sufficient to allow the buyer to rescind or avoid the contract?
- (2)(b) Where the facts do not suggest that the risk of mistake should be allocated to the buyer, can the buyer rely on mutual mistake of fact to rescind or avoid the contract?

DISCUSSION

Summary

A contract for the sale of a painting is a transaction in goods governed by Article 2 of the Uniform Commercial Code.

Grandson's representations in the catalog and the Art Purchase Agreement that the painting was a work of Artiste constitute an express warranty of that fact. The disclaimer of "all warranties, express or implied" in the Art Purchase Agreement was not effective to prevent that warranty from becoming part of the contract. The warranty was breached because the painting was not, in fact, by Artiste.

Because rescission or avoidance for mutual mistake is not addressed in Article 2 of the Uniform Commercial Code, common law rules apply to supplement the rules in the Code.

In this case, the parties made a mutual mistake of fact as to a matter (whether Artiste produced the painting in question) that was critically important to the bargain they were making and that, under the facts, justifies rescission or avoidance of the contract by Buyer.

Point One(a) (10%)

A contract for the sale of a painting is a transaction in goods governed by Article 2 of the Uniform Commercial Code.

Article 2 of the Uniform Commercial Code "applies to transactions in goods." UCC § 2-102. Goods are all things "movable at the time of identification to the contract for sale." UCC § 2-105.

The painting was movable at the time of its identification to the contract of sale. Accordingly, the contract is one for the sale of goods, and Article 2 applies.

Point One(b) (25%)

Grandson's representations that the painting was a work of Artiste constituted an express warranty of that fact. The warranty was breached because the painting was not, in fact, by Artiste.

Under UCC § 2-313(1)(a), any "affirmation of fact . . . made by the seller to the buyer" constitutes an express warranty if it "relates to the goods and becomes part of the basis of the bargain." Furthermore, any "description of the goods which is made part of the basis of the bargain creates an express warranty." UCC § 2-313(1)(b). It is not necessary in either case that the seller use language like "warrant" or "guarantee." UCC § 2-313(2).

Here, Grandson described the painting as a painting by Artiste on at least two separate occasions: in the catalog advertising the sale of the painting and in the Art Purchase Agreement drafted by Grandson's lawyer. These representations about the painting constitute either an "affirmation of fact . . . which relates to the goods" or a "description of the goods."

Here, the assertions that the painting was by Artiste were part of the basis of the bargain. Buyer wanted the painting precisely because it was a work of Artiste. Accordingly, they constitute express warranties under UCC § 2-313.

As to whether the disclaimer in the Art Purchase Agreement excludes or modifies those warranties, see Point One(c).

Point One(c) (25%)

Grandson's attempt to disclaim his express warranty was ineffective.

UCC § 2-316(1) provides that "words" that tend to create an express warranty and words that tend to negate any warranty "shall be construed wherever reasonable as consistent with each other." Grandson's representations in the Art Purchase Agreement and in the catalog that the painting was by Artiste cannot reasonably be considered consistent with its disclaimer of express warranties if that disclaimer is construed to mean that Grandson does not warrant that the

painting is by Artiste. The warranty and the disclaimer cannot reasonably be construed as consistent with each other.

Where the words cannot be reasonably construed as consistent, UCC § 2-316(1) provides that the warranty disclaimer "is inoperative." As explained in the official comments to § 2-316(1), the purpose of this rule is "to protect a buyer from unexpected and unbargained language of disclaimer by denying effect to such language when inconsistent with language of express warranty." Grandson's disclaimer of "all warranties, express or implied" therefore is not effective to prevent Grandson's words from creating an express and enforceable warranty that the painting was by Artiste.

While it might be argued that the reference to the parol evidence rule in UCC § 2-316(1) may preclude reliance on the statements outside the Art Purchase Agreement to establish an express warranty in light of the disclaimer in that Agreement, the parol evidence rule would not exclude use of the express warranty in the Art Purchase Agreement itself.

Thus, the contract includes an express warranty that the painting was by Artiste. Grandson breached that warranty.

Point Two(a) (25%)

The parties made a mutual mistake that warrants rescission or avoidance of the contract by Buyer inasmuch as the mistake was with respect to a basic assumption on which the contract was made and had a material effect on the transaction, and nothing in the transaction allocated the risk of this mistake to Buyer.

The Uniform Commercial Code does not cover all issues that might arise under a contract for the sale of goods (or other matters covered by the Code). Accordingly, UCC § 1-103(b) provides that "the principles of law and equity," including the law of mistake, supplement the Code unless the common law has been "displaced" by a "particular provision" of the Code.

Article 2 of the Uniform Commercial Code does not contain any provisions that would displace the common-law doctrine concerning rescission or avoidance for mutual mistake of fact in a case of this sort. *See, e.g., ACA Galleries, Inc. v. Kinney*, 928 F. Supp. 2d 699 (S.D.N.Y. 2013), *aff'd* 552 Fed. Appx. 24 (2nd Cir. 2014) (applying common law mistake-of-fact rule in a dispute over sale of a painting). Therefore, the common law doctrine applies.

Under the common law of contracts, in some circumstances a contract may be rescinded, or avoided, due to a mutual mistake of fact. As stated by one court, a contract can be rescinded when there is a mutual mistake by the parties to the contract "as to a material fact, and their acts did not in fact accomplish their mutual intent." *Allen v. WestPoint-Pepperell, Inc.*, 945 F.2d 40, 46 (2nd Cir. 1991) (applying New York law).

The Restatement (Second) of Contracts describes the concept as "avoidance" of the contract and states the rule as follows:

Where a mistake of both parties at the time a contract was made as to a basic assumption on which the contract was made has a material effect on the agreed exchange of

performances, the contract is voidable by the adversely affected party unless he bears the risk of the mistake . . .

Restatement (Second) of Contracts § 152.

Here the parties both believed that Artiste had painted the painting purchased by Buyer. That mistake went to the heart of the deal—it concerned a "basic assumption on which the contract was made" because the core of the transaction was the sale of a painting by Artiste. It also had "a material effect on the agreed exchange"—Buyer paid \$350,000 for a painting worth only \$500. The mistake prevented the parties from accomplishing their mutual intent, which was the sale and purchase of a painting by Artiste.

Thus, the contract may be rescinded or avoided by Buyer unless the risk is allocated to him.

Point Two(b) (15%)

It is likely that a court would allow Buyer to assert mutual mistake of fact. The facts do not suggest that the risk of mistake should be allocated to Buyer.

Under the common law of contracts, the defense of mutual mistake of fact will not be available to a party if the risk of the mistake is properly allocated to that party. *See* Restatement (Second) of Contracts § 154. If, for example, the contract explicitly allocates a risk to one party, the defense will not be available to that party. In addition, some courts will allocate the risk of a mistake to a party if the party was negligent in taking steps to avoid the mistake. Furthermore, parties who know that their knowledge of key facts is limited, but complete the transaction despite that limited knowledge, may be denied a mistake-of-fact defense. *Id.* *See also* *ACA Galleries, Inc.*, 928 F. Supp. 2d at 701–02.

Here, it is likely that a court would allow Buyer to assert a mutual mistake. First, the contract does not clearly allocate the risk of the mistake to Buyer. As explained earlier (*see* Point One), under the UCC Grandson warranted that the painting was by Artiste, and the disclaimer was inoperative to alter that warranty. If the contract allocates the risk to either party, it allocates it to Grandson because of the warranty made by him.

Second, Buyer inspected the painting in the only way permitted to him—by a visual inspection. One might argue that he should have brought along an expert to verify the authenticity of the painting, but the facts indicate that it required chemical analysis of the paint to make a certain determination that it was not a painting by Artiste. To say that Buyer was negligent would be a stretch. *Compare* *ACA Galleries, Inc.*, 928 F. Supp. 2d at 701–02 (buyer of artwork was negligent when seller gave substantial opportunity to investigate authenticity, including opportunity for inspection by third-party experts, and buyer chose to complete sale before seeking such inspection).

One might argue that Buyer bore the risk of loss because he knew he had only limited knowledge and he treated his "limited knowledge as sufficient," *Koam Produce, Inc. v. DiMare Homestead, Inc.*, 329 F.3d 123, 127–28 (2d Cir. 2003) (quoting Restatement (Second) of Contracts § 154 (1981)). But Buyer was not relying solely on his limited knowledge in this case; he was also relying upon an express representation made by the seller. Moreover, allocation of risk to a buyer

on this basis is intended to address situations in which a buyer is aware of a risk that the facts are not as he presumes and consciously chooses to run that risk. That is not the situation here, where Buyer had reason (including the seller's assurance) to believe that the painting was by Artiste. *Compare Eisenberg v. Hall*, 48 N.Y.S. 3d 71 (App. Div. 2017) (mistake defense could be denied to buyer if buyer had notice of potential issues regarding authenticity of antiquities but chose to complete the purchase despite that notice).

In short, the facts do not suggest that the risk of a mistake should be allocated to Buyer.

[NOTE #1: With respect to allocation of the risk, the examinee's recognition of that element of the mutual-mistake doctrine and use of the facts presented to reason to a conclusion with respect to it are more important than the conclusion the examinee reaches with respect to the issue.

[NOTE #2: The doctrine examined in call #2 is usually referred to as the doctrine of "rescission." The Restatement (Second) of Contracts, however, describes the doctrine as one of voidability of the contract. *See* Restatement (Second) of Contracts § 152. States vary as to vocabulary on this point.

[NOTE #3: An examinee might note that, depending on the facts, Buyer might also be able to "cancel" the contract under UCC § 2-711(1) because of the breach of warranty and recover the \$350,000 that he paid, bringing about a result for Buyer comparable to rescission or avoidance. This is correct but is not responsive to the calls. Question 1 directs examinees not to address issues relating to remedies, and question 2 is specifically addressed to the doctrine of rescission or avoidance on the basis of mutual mistake. In this regard, see comment g to Restatement (Second) of Contracts § 152:

The rule stated in this Section has a close relationship to the rules governing warranties sale by a seller of goods or of other kinds of property. A buyer usually finds it more advantageous to rely on the law of warranty than on the law of mistake. Because of the broad scope of a seller's warranties, a buyer is more often entitled to relief based on a claim of breach of warranty than on a claim based on mistake. Furthermore, because relief for breach of warranty is generally based on the value that the property would have had if it had been as warranted (see Uniform Commercial Code § 2-714(2)), it is ordinarily more extensive than that afforded if he merely seeks to avoid the contract on the ground of mistake. Nevertheless, the warranties are not necessarily exclusive and, even absent a warranty, a buyer may be able to avoid on the ground of mistake if he brings himself within the rule stated in this Section."]

**FEBRUARY 2024 MEE
ANALYSIS 3 – EVIDENCE**

EVD (I.A.6; II.C.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal problems:

- (1) Whether the trial court erred in not giving Dana an opportunity to be heard before it took judicial notice of the weather on October 18.
- (2) Whether the trial court erred when it took judicial notice of the weather on October 18.
- (3) Whether the trial court erred when it allowed Dana to testify that Cara was "careless," despite the general prohibition on the admission of character evidence and the limited use of other acts evidence.
- (4) Whether the trial court erred when it allowed Dana to testify that Cara would often misplace or forget her cell phone at work, despite the general prohibition on the admission of character evidence and the limited use of other acts evidence.

DISCUSSION

Summary

Federal Rule of Evidence 201 is the sole rule governing judicial notice and applies only to adjudicative facts, i.e., facts at issue in a case. If a party requests that a court take judicial notice of an adjudicative fact and provides the court with the necessary information, the court must take judicial notice if the fact is not subject to reasonable dispute. However, the adverse party must be given an opportunity to be heard on whether to take judicial notice of an adjudicative fact, either before or after the proponent's request.

Here, the trial court erred when it did not permit Dana to be heard on the propriety of taking judicial notice and on the nature of the facts to be noticed. Notwithstanding this error, Cara provided a public record of the weather for October 18, which courts have held is indisputable; thus, the trial court did not err in taking judicial notice of the weather on the date and time and at the location of the alleged theft.

Federal Rule of Evidence 404 regulates the admissibility and use of character evidence. Generally, character evidence is inadmissible to demonstrate that an individual acted in accordance with that character on a particular occasion. Here, Dana's testimony that Cara was

"careless" is the precise type of character evidence that the rule prohibits. Though Rule 404(a)(2) and (a)(3) set forth several exceptions to this general prohibition, none of them are applicable here. Thus, the court erred in allowing Dana to testify that Cara was "careless." The court also likely erred in allowing Dana to testify that Cara would misplace or forget her cell phone at work. Though this testimony is not the typical type of character evidence that is prohibited, it describes specific other acts or behavior by Cara and relies on propensity or character-based reasoning and thus is inadmissible as "other acts" evidence pursuant to Rule 404(b)(1).

Introduction

Federal Rule of Evidence 201 determines whether the court can take judicial notice of the weather on October 18, an adjudicative fact in the case.

Federal Rule of Evidence 201 concerns judicial notice of adjudicative facts, dictating which adjudicative facts may be judicially noticed and establishing procedural requirements. "Adjudicative facts are simply the facts of the particular case." Fed. R. Evid. 201 Advisory Committee's Note. Judicial notice of adjudicative facts may be taken at any time during a proceeding. Fed. R. Evid. 201(d); Paul C. Giannelli, *Understanding Evidence* § 44.04[C] Procedural Issues – Time of Taking Judicial Notice, at 656 (5th ed. 2018).

The weather on October 18 is an adjudicative fact because it will help the jury hearing the case (1) determine the identity of the thief in the case, i.e., whether the thief possibly would have been wearing a heavy, bright orange coat on October 18 because of the weather conditions, and (2) assess the credibility of both Cara and Dana concerning the events of October 18. Because the weather on October 18 is an adjudicative fact, whether the court can take judicial notice of the fact is governed by Rule 201.

[NOTE: Adjudicative facts are distinguished from legislative facts which Rule 201 does not govern. Fed. R. Evid. 201(a). "Legislative facts . . . are used in lawmaking." They are the facts that courts, legislatures, and administrative agencies use in legal reasoning and lawmaking. Giannelli, *supra*, § 44.02 Adjudicative and Legislative Facts: FRE 201(a) at 648.]

Point One (20%)

The trial court erred when it did not give Dana an opportunity to be heard on whether the court should take judicial notice of the weather on October 18.

Upon "timely request," the court must provide a party an opportunity to be heard "on the propriety of taking judicial notice and the nature of the fact to be noticed." Fed. R. Evid. 201(e). "The rule requires the granting of that opportunity upon request. No formal scheme of giving notice" is required by the rule. Fed. Rule Evid. 201 Advisory Committee Notes. Opportunity to be heard is constitutionally mandated: "Basic considerations of procedural fairness demand an opportunity to be heard on the propriety of taking judicial notice and the tenor of the matter noticed." *Id.*

Without holding a hearing, the trial court immediately overruled Dana's objection to the court's taking judicial notice of the facts in the weather report proffered by Cara. This was in

contravention of Federal Rule of Evidence 201(e), which explicitly required the court to hold a hearing after Dana's request to argue against taking judicial notice.

Point Two (30%)

The trial court did not err when it took judicial notice of the weather on October 18.

A court may take judicial notice of two distinct types of adjudicative facts: a fact that "is generally known within the trial court's territorial jurisdiction"; and a fact that "can be accurately and readily determined from sources whose accuracy cannot reasonably be questioned." Fed. R. Evid. 201(b). If a party requests the court take judicial notice of an adjudicative fact and supplies the court with the "necessary information," the court must take judicial notice of the adjudicative fact if the requirements of Rule 201(b) are met. Fed. R. Evid. 201(c).

The requirements of Rule 201(b) and Rule 201(c) are satisfied here. First, as discussed previously, the weather on October 18 was an adjudicative fact in the case. Additionally, Cara properly invoked the rule by requesting that the court take judicial notice of the fact during her rebuttal case and supplying a National Weather Service report for October 18 in the area of the gym. Next, weather on a particular day in a particular location "can be accurately and readily determined" from reports prepared by professionals, such as those who work at the National Weather Service, who are trained and obligated to determine and report historical weather conditions. The accuracy of such reports "cannot reasonably be questioned."

Courts have taken judicial notice of facts included in public records, such as those from executive agencies. Giannelli, *supra* § 44.03[C] Types of Facts Subject to Notice: FRE 201(b) at 653–54. More specifically, courts have taken judicial notice under Rule 201(b) of facts set forth in public records of weather reports, including reports from the National Weather Service, finding them to be sources whose accuracy cannot reasonably be questioned. *See, e.g., Julius v. Luxury Inn & Suites LLC*, 535 F. Supp. 3d 600, 606–07 (S.D. Miss. 2021) (district court took judicial notice of certified weather records from National Centers for Environmental Information, but court would not take judicial notice of inferences from the weather data); *Bain Enterprises LLC v. Mountain States Mut. Cas. Co.*, 267 F. Supp. 3d 796, 819 (W.D. Tex. 2016) (trial court took judicial notice of facts contained in weather reports regarding rainfall in county and surrounding regions); *Gisclair v. Galliano Marine Serv.*, 2007 WL 1266396, at *2 (E.D. La. Apr. 30, 2007) ("Federal courts have been willing to take judicial notice of weather conditions that are either commonly known in a jurisdiction, such as the existence of a drought, or are verifiable through resort to records kept by various entities."); *Are-east River Sci. Park, LLC v. Lexington Ins. Co.*, 2014 WL 12587051, at *5 (C.D. Cal. Mar. 27, 2014) (The National Hurricane Center is part of the National Weather Service, and is a source "whose accuracy cannot be reasonably questioned" of weather and meteorological facts concerning tropical cyclones.").

Courts have, however, refused to take judicial notice of the weather when the reported information did not eliminate "reasonable dispute" about the adjudicative facts in the case. *See, e.g., Walker v. City of Orem*, 2007 WL 2956227, at *1 (D. Utah Oct. 5, 2007) (trial court denied request for judicial notice of weather report due to disputed issues of fact regarding the light at

the time of the events due to cloud cover and whether "mostly clear" weather with a "1/8th of the sky . . . covered with a cloud" meant that the sky was "clear.").

Here, the facts of the weather on October 18 in the area of the gym at the relevant time, i.e., that it rained and the high temperature was only 41 degrees Fahrenheit, are not reasonably disputable. Though there may be a dispute as to whether 41 degrees Fahrenheit is "cold" (as Cara testified) or "not cold" (as Dana said), such a dispute would not undermine the relevance or indisputability of the weather on October 18.

In sum, the court did not err in taking judicial notice of the weather on October 18 as required by Rule 201.

[NOTE: An argument that the court may not take judicial notice because the public record from the National Weather Service has not been admitted into evidence or is inadmissible is unavailing. First, the source of the fact need not be admissible for the court to take judicial notice of the facts therein. *Giannelli, supra* § 44.03[C] Types of Facts Subject to Notice: FRE 201(b) at 654. Second, almost certainly the report would be admissible hearsay within the public record hearsay exception. *See* Fed. R. Evid. 803(8)(A)(ii), (B); *see also* Fed. R. Evid. Advisory Committee Notes to Rule 803(8) (citing case admitting public records of rainfall amounts).]

Point Three (25%)

Dana's testimony that Cara was "careless" is inadmissible character evidence.

Federal Rule of Evidence 404(a)(1) prohibits the admission of "[e]vidence of a person's character or character trait" in all civil and criminal cases, when offered "to prove that on a particular occasion the person acted in accordance with that character or trait." Here, Dana's testimony that Cara was "careless" is classic evidence of a person's character or character trait. Hence, the testimony should not have been admitted in light of the general prohibition under Rule 404(a)(1). *Newill v. Campbell Transp. Co.*, No. 2:12-CV-1344, 2015 WL 267879, at *2 (W.D. Pa. Jan. 14, 2015) ("The testimony that Plaintiff 'knew too much' and, thus, got careless in his job is precisely the type of character evidence rendered inadmissible by Rule 404(a).").

Despite the Rule 404(a)(1) prohibition, Rules 404(a)(2) and (a)(3) set forth exceptions allowing the admission of character evidence by defendants in criminal cases or when used in civil or criminal cases to impeach the truthfulness of a testifying witness, respectively. The exceptions to the prohibition are inapplicable here. Dana is the defendant in a civil suit for theft, not a defendant in a criminal prosecution. Additionally, although Dana's objectionable testimony concerned Cara, who was a witness in the case, Dana's objectionable testimony did not impeach Cara's character for truthfulness.

Point Four (25%)

Dana's testimony that Cara often misplaced or forgot her cell phone is inadmissible character evidence.

Similar to Federal Rule of Evidence 404(a)(1), Rule 404(b)(1) prohibits the admission of "any other crime, wrong, or act . . . to prove a person's character in order to show that on a particular

occasion the person acted in accordance with the character." However, Rule 404(b)(2) allows evidence of "other crimes, wrongs, or acts" for noncharacter purposes such as, but not limited to, proof of motive, knowledge, opportunity, or intent. Rule 404(b)(2) applies in civil and criminal cases. While Dana may have offered the testimony for a relevant, noncharacter purpose, e.g., that no theft occurred because Cara lost or misplaced her cell phone, this relevance of the specific acts relies upon character-based reasoning, i.e., if Cara forgot or misplaced her phone at work, then she forgot or misplaced her phone at the gym on October 18. Hence, these specific other acts of carelessness are also prohibited by the rules against character evidence and character-propensity reasoning.

[NOTE: An analysis of whether the testimony is habit evidence is not responsive to the call, which is specifically limited to the question of character evidence. In addition, testimony that a person often misplaces things is not the sort of evidence of a regular response to a specific set of circumstances that is necessary to establish a habit.]

**FEBRUARY 2024 MEE
ANALYSIS 4 – REAL PROPERTY**

RLP (I.C.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1)(a) If a court were to hold that Tom could have rightfully terminated the lease because Helen held over, what rule would the court apply and what would be the rationale for that rule?
- (1)(b) If a court were to hold that Tom could not have rightfully terminated the lease because Helen held over, what rule would the court apply and what would be the rationale for that rule?
- (2) Under the terms of the lease, did the landlord rightfully refuse to consent to Tom's proposed assignment of the lease to his friend?
- (3) Following Tom's failure to vacate the apartment, could the landlord rightfully treat Tom as a year-to-year periodic tenant subject to the provisions of the expired lease?

DISCUSSION

Summary

Under the so-called "English rule," which has been adopted in some states, the landlord is obligated to turn over actual possession of the leased premises on the first day of the lease. If a landlord fails to do so, as the landlord did here, the tenant has the right to terminate the lease. Conversely, under the so-called "American rule," a landlord is merely obligated to give the tenant the *right* to possession, which in fact occurred here. Thus, under that rule Tom did not have the right to terminate the lease.

Where, as here, the lease provides that no assignment can be made without the landlord's consent, two issues arise. First, in refusing to consent, must the landlord act reasonably? Second, assuming that the landlord must act reasonably, under the facts did she do so? The predominant view is that a landlord must act reasonably when withholding consent. Here, because of the friend's poor credit rating, the landlord acted reasonably. In some jurisdictions, there is no requirement of reasonableness for the landlord's withholding of consent. In those jurisdictions, the landlord could refuse to consent for any reason or for no reason at all.

Upon Tom's holding over beyond the term of his lease, the landlord rightfully treated Tom as a periodic tenant, making Tom liable for the rent payable under the original lease.

Point One(a) (17%)

If the court would hold that Tom was entitled to terminate the lease, the court has adopted the rule that a landlord is required to turn over to the tenant actual possession of the leased premises as of the first day of the lease. This rule carries out the tenant's expectations and recognizes that the landlord is in a better position to both prevent and solve the problem of a prior tenant holding over beyond the lease term.

Under the so-called "English rule," a landlord is obligated to turn over actual possession of the leased premises on the first day of the lease. This is the predominant rule in the United States. A landlord breaches that obligation when the premises are occupied on that date by a prior tenant who wrongfully held over beyond the lease term of that tenant. For that breach, the tenant denied actual possession is entitled to terminate the lease but is not required to do so. The theory behind the English rule is that, by failing to turn over actual possession of the leased premises, the landlord has denied the tenant's just expectations, and that, between the landlord and the tenant, the landlord is in the better position to ascertain whether the prior tenant will vacate timely and take steps necessary to ensure that he or she does. *See generally*, Dale Whitman, Ann Burkhart, R.W. Freyermuth & T. Rule, *The Law of Property* § 6.21 at 215 (4th ed. 2019). Under this rule, Tom had the right to terminate the lease because the landlord failed to turn over actual possession of the property to Tom on January 1, 2021.

Point One(b) (17%)

If the court would hold that Tom was not entitled to terminate the lease, the court has adopted the rule that a landlord is only required to turn over to the tenant the *right* to possession, not actual possession. The rationale for this rule is that neither the landlord nor the new tenant is at fault for the wrongful behavior of the prior tenant; the new tenant, who has the greater interest in taking possession, is just as able as the landlord to take whatever legal steps are necessary to remove the prior tenant.

An alternative rule, often called the "American rule," requires that the landlord turn over merely the *right* to possession to the new tenant on the first day of the lease term. The American rule is clearly the minority rule in the United States. Whitman et al., *supra*, § 6.21 at 215. The theory underlying the American rule is that, given that neither the landlord nor the new tenant is at fault for the wrongful behavior of the prior tenant, the new tenant, who has the greater interest in taking possession, is just as able as the landlord to take whatever legal steps are necessary to remove the prior tenant. This rule ignores the fact that between the landlord and the new tenant, the landlord is in a better position to ascertain whether the prior tenant will wrongfully hold over. It also ignores the fact that landlords as a class are more familiar with the eviction process than tenants, making landlords better positioned to remove the prior tenant from the premises. Under the American rule, Tom would not have the right to terminate the lease on January 1, 2021. This is because on that date he had the *right* to possession.

Point Two (33%)

The landlord rightfully refused to consent to the assignment. In some jurisdictions, the landlord can withhold consent to an assignment for any reason or no reason at all, and in other jurisdictions, if the landlord withholds consent, the landlord must act reasonably even if the lease does not express that requirement. Even if reasonableness is required, the landlord had the right to refuse Tom's proposed assignment because it is reasonable to refuse an assignment based on the assignee's poor credit rating.

Unless a lease provides otherwise, a tenant's interest under a lease can be transferred either by an assignment or a sublet. Whitman et al., *supra*, § 6.66 at 300. This is consistent with the general rule that interests in realty are alienable. For fee interests, restraints on alienation are invalid. But given the landlord's reversionary interest in the leased property and her general concern with the "tenant worthiness" of the tenant who pays rent and who has the obligation to not commit waste on the leased property, courts have permitted a landlord to restrain a tenant's ability to alienate his interest by prohibiting an assignment of that interest without the landlord's consent. Sheldon F. Kurtz, Thomas P. Gallanis & Herbert Hovenkamp, *The Law of Property: An Introductory Survey* § 9.10 at 281 (7th ed. 2018). This ensures that the tenant cannot transfer his typically relatively short-term interest to a person who might damage the property or fail to pay rent when due.

Where the lease prohibited an assignment without the landlord's consent, under English common law and American law well into the 20th century, a landlord could withhold consent to the tenant's assignment of the lease for any reason or for no reason at all. Applying that standard, the landlord here acted properly in withholding her consent. *See generally*, Kurtz et al., *supra*, § 9.10 at 281; Whitman et al., *supra*, § 6.70 at 306 (4th ed. 2019).

Now, however, many courts imply a reasonableness standard even if one is not expressly stated in the lease. Whitman et al., *supra*, § 6.66 at 307. A landlord acts reasonably when withholding consent if the landlord is aware of circumstances indicating that the proposed assignee might not pay rent in a timely manner or might damage the property. Here, the landlord was aware of circumstances indicating that the friend might not pay rent in a timely manner, specifically, the friend's low credit rating. A low credit rating suggests that the friend is already carrying debt large enough to render the friend unable to pay rent or that the friend is currently failing or has previously failed to timely pay debts already incurred. This circumstance alone makes the landlord's decision to withhold consent to assign justified, meeting a reasonableness standard if one is implied.

Point Three (33%)

Upon Tom's holding over beyond the term of his lease, the landlord rightfully treated Tom as a periodic tenant.

The landlord and Tom signed a term-of-years lease that fixed December 31, 2023, as the termination date. The lease therefore provided Tom with notice that he was required to vacate on or before that date. Because Tom remained in possession of the premises beyond the date fixed in the term-of-years lease, the continued possession was wrongful. A tenant who wrongfully remains in possession beyond the term fixed in the lease is a holdover tenant.

With respect to a holdover tenant, a landlord has the right to treat that tenant as an ongoing wrongdoer in possession of the landlord's property and sue for possession. Alternatively, the landlord can elect to treat the holdover as a periodic tenant. If the landlord elects to treat the holdover tenant as a periodic tenant, the nondurational provisions of the periodic tenancy are the same as those stated in the lease that terminated. Whitman et al., *supra*, § 6.20 at 214. Accordingly, in this case, the rent owed by Tom during the periodic tenancy would be equal to the rent stated in the lease even though that rent is higher than the current market rate.

[NOTE #1: The fact that Tom held over for only a few days and the fact that the amount of rent payable during the periodic tenancy is higher than the current market rate are irrelevant to whether the election was proper. A holdover tenant has neither the right to limit his extended time of possession to a period convenient to him nor the right to insist on paying rent at the current market rate.

[NOTE #2: The periodic tenancy could be year-to-year or month-to-month depending on the jurisdiction. *Id.* at 213–14. Regardless, because the question does not ask what period the tenancy should be, no additional credit should be given for such discussion.]

FEBRUARY 2024 MEE
ANALYSIS 5 – CRIMINAL LAW & PROCEDURE

CRM (V.F.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Is a sister state barred by the Double Jeopardy Clause from prosecuting a defendant for a state offense when the defendant was previously convicted of a similar crime by a municipal court in another state for the same conduct?
- (2) Is the federal government barred by the Double Jeopardy Clause from prosecuting a defendant for a federal offense when the defendant was previously convicted of a similar crime by a municipal court for the same conduct?
- (3) Is a state barred by the Double Jeopardy Clause from prosecuting a defendant for a state offense when the defendant was previously convicted of a crime by a municipal court in the same state for the same conduct but the state crime requires proof of an additional element that the municipal crime does not?
- (4) Is a state barred by the Double Jeopardy Clause from prosecuting a defendant for a state offense when the defendant was previously convicted of a crime by a municipal court in the same state for the same conduct but the state crime requires proof of an additional element that the municipal crime does not and the municipal crime required proof of an element that is not part of the state crime?

DISCUSSION

Summary

The State B prosecution is not barred on double jeopardy grounds. Although City has already prosecuted and convicted the officer for an offense with identical elements based on the same conduct that is the subject of the State B prosecution, State B is a separate sovereign from City (and State A), triggering the dual-sovereignty exception to double jeopardy protection. In addition, the federal hate-crime prosecution is not barred on double jeopardy grounds. Although the federal crime and the municipal crime would be the "same offense" under the *Blockburger* test, the federal government is a separate sovereign from City (and State A) and can prosecute the officer for the assault even if the elements of the crime charged by the federal authorities include all the elements of the crime previously prosecuted by City.

The State A hate-crime prosecution is barred on double jeopardy grounds. The dual-sovereignty exception does not apply because City is a political subdivision of State A rather than a separate sovereign. Moreover, under the "same elements" test announced by the U.S. Supreme Court in *Blockburger*, the State A hate crime is the "same offense" as the municipal crime because all the elements of the municipal crime are also elements of the State A crime. It does not matter that the State A crime has an additional element not present in the municipal crime.

On the other hand, the State A assault-with-intent-to-cause-injury prosecution is not barred on double jeopardy grounds. That state crime and the municipal crime are not the same offense because each requires proof of an element that the other does not.

Point One (20%)

The State B prosecution is not barred on double jeopardy grounds despite the officer's conviction on the City criminal charge in State A because State B is a separate sovereign.

The Fifth Amendment's Double Jeopardy Clause declares that no person shall "be subject for the same offence to be twice put in jeopardy of life or limb." U.S. Const. Amend. V. The Fifth Amendment's double jeopardy provision applies to the states. *Benton v. Maryland*, 395 U.S. 784, 794 (1969). A person's double jeopardy rights include the right not to be subjected to a second prosecution for the same offense after the person's prior conviction. *North Carolina v. Pearce*, 395 U.S. 711, 717 (1969).

Here, the facts are clear that State B is seeking to prosecute the officer for the very same behavior for which he was previously convicted by City, which is a political subdivision of State A.

Nonetheless, the Double Jeopardy Clause does not forbid State B's prosecution of the officer because of the "dual sovereignty" doctrine. States are separate sovereigns from one another. *Heath v. Alabama*, 474 U.S. 82, 88 (1985). So "[w]hen a defendant in a single act violates the peace and dignity of two sovereigns by breaking the laws of each, he has committed two distinct offences." *Id.* (citation omitted). *See also Gamble v. United States*, 587 U.S. 678 (2019) ("a crime under one sovereign's laws is not 'the same offence' as a crime under the laws of another sovereign," even if the elements of the two crimes are the same.)

Thus, under the dual-sovereignty doctrine, State B may prosecute the officer even though it will be prosecuting him for the same conduct for which he was previously convicted and even though the elements of the State B crime are identical to the elements of the offense for which he was previously convicted.

[NOTE: Although prosecution by two states for the same conduct is rare because a state crime usually occurs entirely in one state, in this case elements of the offense occurred in two states—the rock being thrown from State A and the injury occurring in State B. State B is entitled to prosecute and punish the officer.]

Point Two (20%)

The federal prosecution is not barred on double jeopardy grounds because the federal government is a separate sovereign from City (as a political subdivision of State A), triggering the dual-sovereignty exception to double jeopardy protection.

Just as states are separate sovereigns from one another, the states are also separate sovereigns from the federal government. So again, "[a]n act denounced as a crime by both national and state sovereignties is an offense against the peace and dignity of both and may be punished by each." *United States v. Lanza*, 260 U.S. 377, 382 (1922). The dual-sovereignty doctrine thus applies here as well, allowing the federal criminal action to proceed despite the fact that the officer was already prosecuted by City. City is a governmental body in State A, and its actions are taken pursuant to State A law delegating some part of State A's sovereign authority to City. Because the federal government and City (as a political subdivision of State A) are separate sovereigns, the Double Jeopardy Clause is not implicated.

Point Three (40%)

The State A hate-crime prosecution is barred on double jeopardy grounds because both the City criminal charge to which the officer pleaded guilty and the state criminal charge cover the "same offense." Because City and State A are part of the same sovereignty, the dual-sovereign doctrine does not apply.

The State A prosecutor has charged the officer with violating the State A hate-crime statute. The charge is based on the same conduct for which the officer was previously convicted by a City court in State A. However, that does not necessarily mean that the prohibition on double jeopardy is violated. A single course of conduct can lead to multiple different criminal charges. To determine whether the State A prosecution is a prosecution for the "same offense" as the City prosecution, the court must apply the test developed by the U.S. Supreme Court in *Blockburger v. United States*, 284 U.S. 299, 304 (1932).

The *Blockburger* test focuses on the statutory elements of each offense and asks whether "each offense contains an element not contained" in the other. *United States v. Dixon*, 509 U.S. 688, 696 (1993). Two provisions are not the "same offense" if *each* contains an element not included in the other. But if either crime would be fully established by proof of the elements of the other crime, then the offenses are the "same offense" for double jeopardy purposes.

Applying the *Blockburger* test here results in the conclusion that the City ordinance and the State A hate-crime statute describe the "same offense." Both the State A hate-crime statute and the City ordinance punish persons who assault others because of their religious expression. Although the State A hate-crime statute has an element (causing serious injury) that is not included in the City ordinance, the two crimes are otherwise identical and the City ordinance has no element that is not part of the State A hate-crime statute. In effect, the City crime is a lesser-included offense of the State crime, and proof of the elements of the State A hate-crime statute would fully establish a violation of the City ordinance. For *Blockburger* purposes, therefore, the two crimes are "the same offense," and prosecuting the same person for the same conduct under both statutes would violate the constitutional prohibition on double jeopardy.

The dual-sovereignty doctrine does not apply to the prosecution of the officer by State A. "Political subdivisions of States—counties, cities, or whatever—never were and never have been considered as sovereign entities. Rather, they have been traditionally regarded as subordinate governmental instrumentalities created by the State to assist in the carrying out of state governmental functions." *Waller v. Florida*, 397 U.S. 387, 392 (1970) (quotation omitted). The officer therefore has the right not to be subjected to further prosecution by State A for an offense for which he was already convicted by City. See *Pearce*, 395 U.S. at 717 (the Double Jeopardy Clause "protects against a second prosecution for the same offense after conviction.")

Point Four (20%)

The State A assault-with-intent-to-cause-injury charge is not barred because each of the two crimes—the state crime and the City ordinance violating—requires proof of an element that the other does not.

As noted above, to determine whether two crimes constitute the "same offense," the Supreme Court requires an evaluation of each statutory provision to determine whether they have the same elements. If each statutory provision requires proof of an element that the other does not, then the crimes are different offenses. Prosecution of a person for multiple crimes based on the same course of conduct does not violate double jeopardy if the crimes are different offenses. See *United States v. Dixon*, 509 U.S. 688 (1993).

The State A assault statute under which the officer is being charged requires proof that the officer acted "with intent to cause injury." That "specific intent" element is not present in the City ordinance. On the other hand, the City ordinance under which the officer was convicted required proof that the officer committed assault on the victim because of the victim's religious expression. That motive element is not present in the State A crime. Thus, each offense contains an element not contained in the other, and double jeopardy is no bar to trying and punishing the officer for each crime based on the same course of conduct.

**FEBRUARY 2024 MEE
ANALYSIS 6 – DECEDENTS' ESTATES**

DEC (I.B.; II.I.1, I.2, I.3, I.5, K.1)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Is Donna entitled to the 100 shares Testator received as a stock dividend in addition to the 200 shares of ABC Corp common stock owned by Testator when she executed her will?
- (2) Does Edward take Testator's home subject to the mortgage even though Testator's will directed that her "just debts" be paid from her estate?
- (3) Is Faye's estate entitled to the substantially damaged piano as well as the \$10,000 of insurance proceeds not paid to Testator before her death?
- (4) In the absence of a residuary clause in Testator's will, to whom should the balance of Testator's estate be distributed?
- (5) Does the \$30,000 that Testator gave her son, George, in 2020 reduce her grandson's (Isaac's) intestate share in Testator's estate?

DISCUSSION

Summary

Testator's estate is distributed as follows:

300 shares of ABC Corp common stock to Donna.

Testator's home to Edward, subject to the mortgage.

Balance of estate (the damaged piano plus \$210,000 comprising the bank account of \$200,000 and the \$10,000 of casualty insurance proceeds) equally to Harriet and Isaac.

Under the Uniform Probate Code (UPC), Donna is entitled to all 300 shares of ABC Corp common stock because stock dividends earned between the time the will was signed and the time Testator died are allocated to the beneficiary of the stock.

Under the UPC, Edward takes the home subject to the mortgage on Testator's home at the time of her death. The "just debts" clause does not change that result.

The gift of the piano to Faye lapsed. Faye died intestate with Testator (her sister) and Edward (her brother) as her only heirs. This necessarily means that Faye had no issue who survived her or Testator. Because the gift lapsed, the piano passes as partial intestate property, along with the \$10,000 insurance proceeds payable because of its damage, to Testator's heirs.

The balance of Testator's estate, including the insurance proceeds payable on the damaged piano, is distributed equally as partial intestate property to Testator's heirs: her daughter, Harriet, and her grandson, Isaac. In distributing the balance of Testator's estate, the \$30,000 gifted to Testator's son, George, is not taken into account in computing Isaac's share because it is not treated as an advancement.

Point One (20%)

Donna is entitled to 300 shares of ABC Corp common stock because the stock dividend is an "increase" treated as a part of that devise.

Testator bequeathed to Donna 200 shares of ABC Corp common stock, which she inherited from her grandfather and owned at the time she executed her will. After executing her will in 2010, Testator received an additional 100 shares from that corporation as a "stock dividend." Under UPC § 2-605, if a testator specifically devised securities owned at the time the will was executed to a named beneficiary and subsequently the testator acquired additional shares of the securities as the result of either a stock split or a stock dividend, the additional shares also pass to the named beneficiary. Thus, Donna is entitled to all 300 shares of ABC Corp that Testator owned at the time of her death.

Point Two (20%)

Edward takes the home subject to the mortgage. The "just debts" clause in Testator's will does not alter that result.

Section 2-607 of the UPC provides that "[a] specific devise passes subject to any mortgage interest existing at the date of death without right of exoneration, *regardless of a general directive in the will to pay debts*" (emphasis added). While Testator's will provides that all her "just debts be paid before distributing the foregoing devises," § 2-607 expressly provides this general directive to pay debts does not result in Edward's being exonerated from taking the home subject to the mortgage. *See also* UPC § 2-607 cmt.

[NOTE: This contrasts with the common law, under which the specific legatee of real property is entitled to be exonerated from debts against that property. *See* W. McGovern, S. Kurtz, D. English & T. Gallanis, *Wills, Trusts and Estates* 255 (5th ed. 2017). So, although Edward would have taken free of the mortgage under the common law both because of the will's debt-payment directive and because of the general common law rule, under the UPC Edward takes the home subject to the mortgage that existed at the time of Testator's death. To be clear, under the UPC, it is irrelevant that Testator's will contains a general directive to pay Testator's debts.

A thorough answer to this question should discuss the effect of the payment clause in Testator's will but need not discuss the provisions of UPC § 3-814. This section empowers the executor of the estate to pay the mortgage "for the best interest of the estate," but no facts here would warrant that conclusion. And the last sentence of that section states that "[p]ayment of an encumbrance does not increase the share of the distributee entitled to the encumbered assets unless the distributee is entitled to exoneration." As explained above, § 2-607 expressly provides that the distributee is not entitled to exoneration.]

Point Three (20%)

The devise to Faye lapsed because she predeceased Testator and left no issue who survived Testator.

Under § 2-606(a)(3) of the UPC, a specific devisee is entitled to the specifically devised property if it is in the probate estate and to "any proceeds unpaid at death on fire or casualty insurance on . . . the property." Faye therefore would have been entitled to the damaged piano that was still in Testator's probate estate as well as the \$10,000 of unpaid casualty insurance proceeds if she had survived Testator. But because Faye predeceased Testator, the question becomes whether the specific devise to Faye lapsed.

Under § 2-603(b), if a devisee who was a descendant of the testator's grandparents predeceases the testator, the devise lapses unless the deceased devisee was survived by issue.

Faye is Testator's sister and thus is a descendant of Testator's grandparents. But the facts make it clear that Faye died without surviving issue. The facts state that Faye died before Testator and that Testator and Edward (Faye's siblings) were Faye's only heirs. Thus, Faye necessarily had no issue who survived Testator.

[NOTE #1: Because this devise lapsed and Testator's will contains no residuary clause, the devise passes as undisposed-of property to Testator's heirs Harriet and Isaac as partial intestate property. *See generally* UPC § 2-101(a) ("Any part of a decedent's estate not effectively disposed of by will passes by intestate succession to the decedent's heirs."); UPC § 2-103(c) (descendants take by representation). *See* Point Four below.

The lapse statutes of almost all non-UPC jurisdictions apply only if the deceased beneficiary leaves issue who survive the testator. Under these statutes, like the UPC, the devise to Faye would lapse because she had no issue who survived Testator. *See* McGovern, et al., *supra*, at 256.]

[NOTE #2: Ademption is "[t]he failure of specific devises by transfer or loss of the property after the will is executed." McGovern, et al., *supra*, at 1. At common law, a specific devise adeemed if the subject matter of the devise was not owned by the testator at the time of her death. Here, the piano was owned by Testator at the time of her death; it was merely damaged. Under UPC § 2-606 ("non-ademption of specific devises"), had Faye survived Testator, she would have been entitled to the damaged piano and the \$10,000 insurance proceeds. But as explained above, because Faye died before Testator, leaving no issue who survived Testator, the bequest of the piano to Faye lapsed. Thus, the concept of non-ademption is irrelevant to this question.]

Point Four (20%)

Because Testator's will does not contain a residuary clause, all her undisposed-of property (the piano and \$210,000) passes as partial intestate property to her two heirs, Harriet and Isaac.

Testator's will does not contain a residuary clause. As a result, any property not disposed of by the general and specific legacies under the will pass as partial intestate property to her heirs. UPC § 2-101(a). Testator's heirs are Harriet (her daughter) and Isaac (taking by representation of Testator's deceased son, George). Each of them is entitled to receive half of the partial intestate property. UPC § 2-103(c).

The partial intestate estate is the damaged piano and \$210,000 (the \$200,000 in cash plus the \$10,000 of casualty insurance proceeds payable on the damaged piano).

Point Five (20%)

Under the UPC, Isaac's share of the estate is not reduced on account of Testator's \$30,000 gift to Isaac's father, George, because the gift was not an advancement.

Under UPC § 2-109(a), "If an individual dies intestate as to all or a portion of the estate, property the decedent gave during the decedent's lifetime to an individual who, at the decedent's death, is an heir is treated as an advancement against the heir's intestate share . . . *if . . . the decedent declared in a contemporaneous writing or the heir acknowledged in writing that the gift is an advancement*" (emphasis added). Here the \$30,000 gift to George fails to be an advancement for two reasons. First, there is no *contemporaneous* writing from anyone or any facts evidencing an acknowledgement by George that the gift was an advancement. The only writing indicating Testator's intent that the gift was an advancement was executed in 2023, three years after the gift was made in 2020. That is not a contemporaneous writing.

Second, the gift was made to George, her son, who predeceased Testator. Thus, George was not an heir of Testator at the time of Testator's death. Under the statute, to be an advancement the gift must be made to a person who was an heir of the donor *at the time the donor of the gift died*.

Lastly, UPC § 2-109(c) expressly provides that, if the recipient of the gift (here Testator's son, George) dies before the donor, "the property is not taken into account in computing the division and distribution" of the estate "unless the decedent's contemporaneous writing provides otherwise." While Testator's 2023 writing expressed the intent that the gift should be taken into account in the distribution of the estate, it is, as noted above, ineffective because it was not contemporaneous with the making of the gift.

[NOTE: If the gift of \$30,000 to George was in fact an advancement, then the shares of Harriet and Isaac would have to be calculated taking that advancement into account. Here, the probate estate of \$210,000 cash would be increased by the amount of \$30,000 to create a hotchpot (in advancement talk) of \$240,000. This is the amount that Testator's estate passing in partial intestacy (piano aside) would have totaled if Testator had not given \$30,000 to George. The hotchpot then would generate a share of \$120,000 for each of Harriet and Isaac. After Harriet receives her \$120,000 share, there would be only \$90,000 remaining to be distributed to Isaac, who receives \$30,000 less than Harriet because of the \$30,000 gift to his father, George.]

July 2024
MEE Questions
and Analyses

July 2024 MEE Questions

Real Property

Corporations & LLCs

Constitutional Law

Contracts

Family Law

Civil Procedure

JULY 2024 MEE

QUESTION 1 – REAL PROPERTY

Four years ago, Connie, a professional homebuilder, purchased a five-acre, rectangular tract of land. On its western side, the tract was bordered by land owned by Diane. One month after Connie purchased the tract, Diane sued Connie in state court to establish her adverse possession claim to a 12-foot-wide strip immediately inside the western border of Connie's tract, where Diane had maintained a vegetable garden. The court issued a judgment in Diane's favor, which was filed at the county recorder's office.

Three years ago, Connie built a house on the eastern half of the tract. One month after Connie completed the house, she contracted to sell the entire five-acre tract to Bert and convey it by warranty deed. The purchase agreement contained no express warranties regarding the quality of the house's construction. At the closing, Connie delivered to Bert the warranty deed, which excepted from warranties "all titles, covenants, and restrictions on record with the county recorder."

One year ago, Bert conveyed the five-acre tract to Adam by a quitclaim deed that contained no warranties. Adam had never inspected the tract.

Three months ago, a major crack appeared in the foundation of the house due to faulty construction. This resulted in frequent water intrusion and substantial water damage to the house.

Two months ago, when Adam started to construct a fence around the entire five-acre tract, Diane correctly told him that he could not lawfully build a fence that would block her access to the portion that she owned by adverse possession.

A gravel road runs from north to south through the middle of the five-acre tract. The gravel road connects the adjoining northern lot to the highway that abuts the tract to the south. One month ago, during Adam's fence construction on the north side of the tract, Adam's northern neighbor correctly told him that she had an implied easement of necessity over the gravel road, preventing her land from being landlocked.

1. Does Adam have a cause of action against Connie based on the crack in the house's foundation? Explain.
2. Does Adam have a cause of action against Connie based on Diane's ownership of a portion of the tract by adverse possession? Explain.
3. Does Adam have a cause of action against Bert based on Diane's ownership of a portion of the tract by adverse possession? Explain.
4. Does Adam have a cause of action against Connie based on the neighbor's easement over the tract? Explain.

In answering these questions, assume that none of Adam's claims are barred by any statute of limitations.

JULY 2024 MEE

QUESTION 2 – CORPORATIONS & LLCs

XYZ Corp owns all the common stock of CruiseCo, which operates a fleet of 24 oceangoing passenger cruise ships. In addition, XYZ owns 90% of the common stock of ResortCo, which operates several large hotels and marinas on ocean coastlines. As a result of its share ownership, XYZ has the power to choose all members of the boards of directors for both ResortCo and CruiseCo, and it has voted its shares so as to elect XYZ employees for all seats on each board. All three corporations are incorporated in State A, which has adopted a corporate statute identical in substance to the Model Business Corporation Act.

During the past two years, CruiseCo's profits have steadily declined because fewer people have booked cruises. Moreover, many of the marinas where CruiseCo's ships stop to refuel have increased their docking fees. CruiseCo's ships frequently dock at ResortCo-owned marinas as part of their ordinary operations. ResortCo charges CruiseCo the same docking fees as it charges other cruise lines.

Last year, XYZ demanded that ResortCo stop charging CruiseCo's ships docking fees. At a board meeting to consider this demand, ResortCo's directors voted unanimously to acquiesce to XYZ's demand, even though ResortCo was contractually entitled to those fees. Eliminating the fees would help CruiseCo by reducing its operating costs and hurt ResortCo by lowering ResortCo's revenues.

Six months ago, at a board meeting, ResortCo's directors voted unanimously not to declare or pay the usual yearly dividend. The directors' rationale for this decision was to retain funds to construct new hotels and increase ResortCo's market share. The board reached its dividend decision after considering for several hours a report on the financial implications of the potential dividend from the company's chief financial officer and its independent accountant, as well as an advisory opinion prepared by an outside law firm.

At ResortCo's properly called board meeting last week, the board considered an offer that had been presented to ResortCo's president half an hour before the meeting. The offer was from Ava, the owner of 1,000 acres of coastal land well suited for commercial property development, to sell her land to ResortCo for \$50 million. Ava, who had no previous connection to ResortCo, had told the president that she would hold the offer open for only 48 hours. Citing the time-sensitive nature of the offer and the attractiveness of the property, ResortCo's directors discussed Ava's offer for only 15 minutes before unanimously voting to accept it. ResortCo's directors did not obtain any guidance about the transaction's fairness or potential impact on the company's financial condition from outside experts or from ResortCo's chief financial officer before voting. In fact, the price was above the property's fair market value.

1. Did XYZ, as a controlling shareholder of ResortCo, breach a fiduciary duty of loyalty to ResortCo or ResortCo's minority shareholders by causing ResortCo to stop charging CruiseCo docking fees? Explain.
2. If ResortCo's minority shareholders challenge the board's decision not to declare a dividend this year, are they likely to prevail? Explain.
3. Is the ResortCo board of directors' decision to purchase Ava's land protected by the business judgment rule? Explain.

JULY 2024 MEE

QUESTION 3 – CONSTITUTIONAL LAW

Three years ago, CarCo, an automobile manufacturer located in State A, entered into contracts with several State A automobile dealers. Under these contracts, the dealers had the right to sell cars made by CarCo. The term of each contract was 10 years, but the contract gave CarCo the absolute right to terminate the dealer's rights upon 60 days' written notice. CarCo insisted upon this termination provision because badly performing dealerships impact CarCo's profitability. CarCo has never entered into a dealership agreement without this provision and, during contract negotiations with other potential dealers, has consistently refused to omit the provision from dealership agreements.

Two years ago, CarCo announced that it planned to terminate agreements with rural dealers in many states and to encourage potential car buyers in rural areas to use CarCo's website to purchase cars. CarCo estimated that this new business model would result in significant cost savings. CarCo relied on the ability to terminate dealers' rights when it invested in expanding its online business.

After learning that CarCo intended to terminate agreements with rural dealers, the State A legislature passed a statute regulating agreements between automobile dealers and automobile manufacturers. The statute provides:

Notwithstanding the terms of any contract, an automobile manufacturer shall not, without good cause, terminate any contractual rights of a dealer located in a county with a population of less than 1,000. This provision applies to contracts entered into both before and after the effective date of this statute.

The legislature had not previously regulated agreements between automobile manufacturers and dealers, and State A's highest court had held that the state common law did not generally limit the enforceability of contract-termination provisions.

Prior to enactment of the statute, some members of the state legislature privately expressed anger that automobile manufacturers were terminating agreements with rural dealers and thought that the statute was a good way to "get back at them." The statute includes the following legislative finding and statement of legislative purpose:

This Act addresses the imbalance of bargaining power between automobile manufacturers and dealers. We find that if the parties were able to freely bargain on an equal footing, their agreements would contain a provision allowing termination only for good cause.

Last month, CarCo gave a State A rural dealer timely written notice of termination as provided in the dealership agreement. The dealer sued CarCo, citing the statute and asserting that CarCo could not terminate its rights as a dealer because CarCo lacked good cause to do so.

CarCo asserts that the statute is unconstitutional for three reasons. First, applying the statute to the dealership agreement, which the parties entered before the statute was enacted, violates the

Contracts Clause of the Constitution. Second, the statute violates the Equal Protection Clause of the Constitution because it impermissibly discriminates between automobile-dealership agreements and contracts involving other products with similar provisions that allow termination without cause. For this second claim, CarCo has offered evidence of the legislators' private statements to prove that the state's actual purpose for the law was to effectuate the state's animus against automobile manufacturers. Third, the statute's good-cause requirement for terminating automobile-dealership agreements violates CarCo's substantive due process rights.

1. Does application of the State A statute to CarCo's rights under the dealership agreement with the dealer violate the Contracts Clause? Explain.
2. Does the State A statute violate the Equal Protection Clause? Explain.
3. Does the State A statute violate CarCo's substantive due process rights? Explain.

JULY 2023 MEE
QUESTION 4 - CONTRACTS

A store owner wanted a new sign for her store. On May 1, she met with a representative of SignCo, a sign company, which she had selected on the basis of its low advertised prices, and detailed her proposed specifications for the sign. The store owner and the representative, who was authorized to enter into contracts on behalf of SignCo, orally agreed that SignCo would deliver to the store owner a 10-foot-long sign, for which the store owner would pay \$5,000. They agreed that the sign would bear the unique name of the store, would be constructed of bent red glass, and would meet quality and design specifications stated by the store owner. They also orally agreed that the sign would be delivered to the store owner no later than May 31.

On May 6, SignCo had made substantial progress in shaping the glass into the store's name. By May 8, however, SignCo determined that it would not be able to finish the sign on time. Without the store owner's knowledge, on May 9 SignCo entered into an agreement with another company (the "substitute manufacturer"). The agreement required the substitute manufacturer to complete work on the sign and supply it to the store owner in accordance with the agreement between SignCo and the store owner. In addition, the agreement assigned to the substitute manufacturer SignCo's right to be paid under the agreement with the store owner.

On May 12, SignCo and the substitute manufacturer jointly called the store owner to tell her that the substitute manufacturer would be furnishing the sign to her and that the sign would be ready for delivery by the May 31 deadline. The store owner was angry. She told SignCo and the substitute manufacturer that she had contracted to buy a sign made by SignCo, not by the substitute manufacturer, and that she had no intention of accepting a sign made by anyone other than SignCo.

On May 31, the substitute manufacturer delivered to the store owner a sign that conformed to all the specifications of the store owner's agreement with SignCo. The store owner rejected the sign and refused to pay for it, arguing that the May 1 agreement could not be enforced against her because she had never signed a document reflecting that agreement. She also argued that even if she was bound by the May 1 agreement, its terms required that she receive a sign made by SignCo, not by the substitute manufacturer.

1. Did the store owner and SignCo enter into a contract on May 1? Explain.
2. Assuming that the store owner and SignCo entered into a contract on May 1, is it enforceable against the store owner even though the store owner did not sign a document reflecting the agreement? Explain.
3. Assuming that the May 1 agreement constitutes a contract that is enforceable against the store owner, is the store owner bound to accept the sign from the substitute manufacturer? Explain.

JULY 2024 MEE
QUESTION 5 - FAMILY LAW

Wanda, who had been married to Harvey for 15 years, filed a complaint for divorce from Harvey shortly after she learned that he was having an affair with their married neighbor, Patrice. In the divorce proceeding, both Wanda and Harvey sought sole custody of their 13-year-old daughter.

Because Harvey and Wanda bitterly argued about and were highly critical of each other's parenting, the trial court appointed a neutral child-custody evaluator to investigate the family dynamics and provide an informed custody recommendation to the court. Both Wanda and Harvey told the evaluator that they were unwilling to share custody. The daughter told the evaluator that she was very upset because her parents were divorcing. She blamed her mother for the divorce and wanted to live with her father. The evaluator found that both parents were devoted to their daughter and recommended that the trial court grant Harvey sole physical and legal custody of the daughter, with Wanda to have liberal visitation with the daughter. The trial court granted the divorce and entered a custody order consistent with the evaluator's recommendation. Neither parent appealed this order.

Two months after the trial court entered the divorce decree and custody order, Patrice moved into Harvey's home. Wanda immediately petitioned the trial court to modify the custody order. She sought sole physical and legal custody of the daughter because of Harvey's nonmarital cohabitation with Patrice. Harvey opposed Wanda's petition, arguing that there was no justification for modifying the custody order. Neither Wanda nor Harvey requested joint custody, and the relationship between Wanda and Harvey remained bitter and acrimonious.

The trial court held a hearing on Wanda's petition to modify custody. The daughter testified, "I am still angry that my parents got divorced, but I do miss my mom and wouldn't mind seeing her more. Patrice is fine." Harvey testified that there had been no change in the daughter's behavior since Patrice moved into his home and that she and the daughter "get along well."

Wanda testified that the daughter should not be exposed to the nonmarital cohabitation of Harvey and Patrice. There was no other testimony.

1. Are the facts legally sufficient to authorize the trial court to consider whether to modify the existing custody order? Explain.
2. Assuming that the facts are legally sufficient to authorize the trial court to consider whether to modify custody, should the trial court modify the existing custody order to grant Harvey and Wanda joint physical and legal custody of their daughter? Explain.

JULY 2024 MEE

QUESTION 6 – CIVIL PROCEDURE

A woman was driving in State A when her sport-utility vehicle (SUV) collided with a car driven by a man. As a result of the accident, the woman, who is a citizen of State A, had significant injuries requiring treatment by a physician. The man is a citizen of State B and was in State A visiting his brother at the time of the accident.

Three passengers were in the man's car: the man's brother was in the front passenger seat, and two of the man's friends were in the backseat.

The man had a car insurance policy that provided coverage of up to \$1,000,000 for personal injuries and property damage.

The man hired an attorney, who began investigating the accident. The attorney spoke to four people: a bystander who had witnessed the accident, the man's brother, and the man's two friends who had been in the car. The bystander recounted that the man had been looking at his phone at the time of the accident. The man's two friends also stated that the man had been trying to read directions on his phone at the time. The man's brother stated that the man had not been looking at his phone when the accident occurred.

Shortly after the man's attorney completed his investigation, the woman sued the man in the US District Court for the District of State A. Her complaint asserted a claim of negligence against the man and sought \$250,000 in damages for personal injury and property damage. Pursuant to Federal Rule of Civil Procedure 26, the woman and the man exchanged initial mandatory disclosures. The man's initial disclosures included his brother's name and contact information, along with a summary of the information that the brother could provide concerning the accident. The man's initial disclosures did not identify or refer to the other passengers or the bystander, although the man later identified them in answers to interrogatories. The man's initial disclosures also did not include any information about his car insurance policy.

During discovery, the woman's attorney took the man's deposition. When the woman's attorney asked the man about his eyesight, the man's attorney objected and instructed the man not to answer, asserting that the line of questioning was not relevant. When the woman's attorney persisted in asking the man about his eyesight, the man's attorney abruptly ended the deposition, and the man and his attorney immediately departed.

Subsequently, the woman's attorney filed a proper motion to compel the man to answer deposition questions, but the court denied the motion, finding that "questions about the man's health and physical condition are irrelevant to this tort suit, and inquiry about them is improper."

Later, the woman's lawsuit was tried to a jury. At trial, the woman called the man's two friends and the bystander to testify. Each witness testified that the man had been looking at his cell phone at the time of the accident. The woman also called her treating physician to testify. The physician described the nature and extent of the woman's injuries. The only witness the man called was his brother, who testified that the man had not been looking at his phone when the accident occurred. Immediately after the man rested his case, the woman moved for judgment as a matter of law on the issue of the man's liability for negligence.

1. Was the man required to include in his initial disclosures information about the insurance policy and the identity of the three other witnesses to the accident? Explain.
2. Did the trial court rule correctly on the woman's attorney's motion to compel the man to answer deposition questions about his eyesight? Explain.
3. How should the court rule on the woman's motion for judgment as a matter of law? Explain.

July 2024 MEE Analyses

Real Property

Corporations & LLCs

Constitutional Law

Contracts

Family Law

Civil Procedure

**JULY 2024 MEE
ANALYSIS 1 – REAL PROPERTY**

RLP (II.B.; III.F.; V.A. & B.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Does Adam have a cause of action against Connie for damage to his house resulting from the crack in the foundation based upon the implied warranty of habitability or the implied warranty of workmanlike construction?
- (2) Does Adam have a cause of action against Connie resulting from Diane's successful adverse possession claim because the deed was from Connie to Bert, not to Adam, and excluded from the warranties "all titles, covenants, and restrictions on record with the county recorder"?
- (3) Does Adam have a cause of action against Bert resulting from Diane's successful adverse possession even though Adam took title from Bert by a quitclaim deed?
- (4) Does Adam have a cause of action against Connie resulting from the neighbor's claim of an easement by necessity even though the deed was from Connie to Bert, not to Adam, and excluded "all titles, covenants, and restrictions on record with the county recorder"?

DISCUSSION

Summary

Whether Adam has a cause of action against Connie based on the crack in the house's foundation depends on the jurisdiction in which the house is located. In some states, the sale of a new house includes an implied warranty of habitability or an implied warranty of workmanlike construction. However, among those jurisdictions that recognize such an implied warranty, only some hold that the warranty extends from builders like Connie to downstream buyers like Adam.

Adam has no cause of action against Connie resulting from Diane's adverse possession because the deed from Connie to Bert excluded from the warranty "all titles, covenants, and restrictions on record with the county recorder." Diane's claim was on the record and thus was excepted from the warranty because, as the facts clearly state, she had a court judgment on her adverse possession claim, and a court judgment affecting the title of real property is part of the land records.

Adam has no cause of action against Bert resulting from Diane's adverse possession because Adam took title from Bert under a quitclaim deed and quitclaim deeds contain no warranties of title.

Whether Adam has a cause of action against Connie resulting from the neighbor's claim of an easement by necessity depends on the jurisdiction in which the house is located. In some jurisdictions, Adam has no claim against Connie, even though the easement was not excluded from the warranty deed, because the easement would have been plain and obvious to Adam had he inspected the land when he purchased it. In other jurisdictions, Adam has a claim because there was no exclusion in the warranty deed.

Point One (25%)

Whether Adam has a cause of action against Connie based on the crack in the house's foundation depends on the jurisdiction in which the house is located. In some states, the sale of a new house includes an implied warranty of habitability or an implied warranty of workmanlike construction. However, among those jurisdictions that recognize such an implied warranty, only some hold that the warranty extends from builders like Connie to downstream buyers like Adam.

Under the common law doctrine of caveat emptor, a builder made no warranties to a home buyer regarding the quality of the structure. The buyer took the home "as is." See Dale A. Whitman, Ann M. Burkhart, R.W. Freyermuth & Troy A. Rule, *The Law of Property* § 11.16 (4th ed. 2019). Today, however, most states recognize an implied warranty of habitability or an implied warranty of workmanlike construction either by statute or by judicial precedent. Typically, this warranty is that the home is "designed and constructed in a workmanlike manner and fit for habitation." *Id.*, § 11.16 at 831.

Jurisdictions differ, however, on whether the warranty between a builder and a buyer runs to downstream buyers such as Adam, who acquired the house from Bert and not from the builder (Connie). Some jurisdictions say that the warranty does run to downstream buyers, others say that it does not, and yet others have not addressed the issue at all. Thus, under these facts, whether Adam has a claim against Connie depends on the jurisdiction in which the house is located.

[NOTE: An acceptable answer may analyze the law and reach a conclusion under the law of any single state.]

Point Two (25%)

Adam has no cause of action against Connie resulting from Diane's successful adverse possession claim because the deed from Connie to Bert excluded from the warranty "all titles, covenants, and restrictions on record with the county recorder."

Warranty deeds include six covenants: three present covenants, which are enforceable only by the warrantee named in the warranty deed (here Bert), and three future covenants, which are enforceable by the named warrantee and all future transferees, such as Adam. The most relevant of the future covenants here is the covenant of quiet enjoyment. This covenant protects the warrantee and any remote grantee (here Adam) against claims based on the warrantor's (here

Connie's) absence of title to all or a portion of the land conveyed in the warranty deed. *See generally* Sheldon F. Kurtz, Thomas P. Gallanis & Herbert Hovenkamp, *The Law of Property: An Introductory Survey* (7th ed. 2018) at 667-69.

However, a warranty deed may expressly exclude (or "except") from the warranties in the deed claims based on titles, easements, covenants, and restrictions "of record," meaning titles, easements, covenants, and other restrictions that have been filed in the land records of the county in which the land is located. These records include the land records maintained by the county recorder as well as all court judgments and probate records. Where such exclusion is provided for in the warranty deed, as here, the downstream buyer has no cause of action against the warrantor for breach of the covenant of quiet enjoyment because the buyer's quiet enjoyment was disturbed as the result of an excluded title.

Here Diane's adverse possession claim to title had been reduced to a judgment that was, as a matter of law, part of the land records. Any warranty to protect a downstream buyer from this title was excluded by the deed from Connie to Bert by the exception language for "all titles, covenants, and restrictions on record." Adam (the downstream buyer) therefore has no claim against Connie for breach of the warranty because Diane's title by adverse possession was excluded from the warranties in Connie's deed to Bert.

Point Three (20%)

Adam has no cause of action against Bert resulting from Diane's adverse possession title because Adam took title from Bert under a quitclaim deed that contained no warranties.

Adam purchased the land from Bert. Regardless of whether Adam was a warrantee under Connie's deed to Bert as a downstream buyer, Adam would have a claim against Bert arising from Diane's adverse possession of land only if he received a warranty deed from Bert. But Adam received only a quitclaim deed from Bert. A quitclaim deed by definition, contains no warranties of title. *See* Joseph W. Singer, Bethany R. Berger, Nestor M. Davidson, and Eduardo M. Penalver, *Property Law: Rules, Policies, and Practices* § 3.3 (8th ed. 2022) (under a quitclaim deed, the grantor "does not warrant that the grantor owns anything or has the right to convey" title to the grantee). Adam therefore has no claim against Bert.

[NOTE: Marketable title is relevant only to the question of whether a buyer can refuse to close a transaction and to take title of land from a seller due to a title defect. Once the deed is delivered, the issue of marketable title is irrelevant, and the claims relating to title defects are based solely on the nature of the deed received. In the case of Bert, he took the land by a warranty deed that excluded the adverse possession claim, and in the case of Adam, he took by a quitclaim deed that contained no warranties at all.]

Point Four (30%)

Whether Adam has a cause of action against Connie based on the neighbor's easement by necessity depends on the jurisdiction in which the house is located. In some jurisdictions, Adam has no claim resulting from that easement even though the easement was not excluded from the warranty deed because the easement would have been plain and obvious to Adam had he

inspected the land when he purchased it. In others, Adam has a claim because there was no exclusion in the warranty deed.

An easement by necessity is an encumbrance on the land. Because the covenant of quiet enjoyment in Connie's deed to Bert did not expressly except that encumbrance from the warranty, Connie ordinarily would be liable to the downstream buyer for breach of the covenant of quiet enjoyment.

[NOTE #1: The language in the deed excepting "all titles, covenants, and restrictions on record with the county recorder" would not be a basis for excepting the easement by necessity from the warranty because these easements arise by operation of law and thus are not recorded.]

Whether the easement by necessity here will be impliedly excepted differs from state to state. Some courts conclude that an easement is excepted from the warranty if the easement is "plain and obvious or is well-known to the grantee." Dale Whitman, et al., *supra*, § 11.16 at 804. Here the easement was plain and obvious given that it was evidenced by a gravel road running north to south across the land to a public road. No purchaser would reasonably expect that Connie was warranting that the easement did not exist. *See id.* at 804-05. In these jurisdictions, Adam has no claim resulting from the neighbor's easement.

Other courts hold that the fact that the buyer could see a visible use of the property that might constitute an easement does not preclude the buyer from suing on the covenant of quiet enjoyment. Although the buyer may see the encumbrance, the buyer knows little or nothing about its legal status. Because, as between the seller and the buyer, the seller has better knowledge of the easement's status, the risk of loss from an erroneous assessment of its existence and the need to expressly exclude is on the seller. *See S. Kurtz, et al., supra*, at 686-87. In these jurisdictions, Adam has a claim because there was no exclusion in the warranty deed.

[NOTE #2: Adam has no claim based on the covenant against encumbrances because that covenant does not extend to downstream buyers.]

[NOTE #3: There are two kinds of warranty deeds: the warranty deed (a/k/a "general warranty deed") and the "special warranty deed." The latter may be evidenced either by using the word "special" before "warranty" or by language in the warranties limiting them to actions occurring only during the time the seller owned the property. That is, by using a special warranty deed, the seller is not guaranteeing the condition of the title during any period of ownership by anyone but the seller. Here, there are no facts suggesting that Connie conveyed the land to Bert by a special warranty deed. If Connie had conveyed the land to Bert by a special warranty deed, another reason that Adam would have no claim against Connie under Issue #2 might be that the statute of limitations that benefited Diane had fully run before Connie acquired the land. A similar argument might also be made with respect to Issue #4.]

JULY 2024 MEE
ANALYSIS 2 – CORPORATIONS & LLCs

COR (IV.C.; V. B.; VI.A.; VIII.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Did XYZ Corp, as a controlling shareholder of ResortCo, breach its duty of loyalty to ResortCo or ResortCo's minority shareholders by causing ResortCo to stop charging docking fees to CruiseCo?
- (2) Could ResortCo's minority shareholders successfully challenge the board's decision not to declare a dividend this year?
- (3) Is the ResortCo board of directors' decision to purchase Ava's land protected by the business judgment rule?

DISCUSSION

Summary

XYZ Corp likely breached a fiduciary duty of loyalty to ResortCo and its minority shareholders by causing ResortCo to stop collecting docking fees from CruiseCo. As a controlling shareholder, XYZ (the parent corporation) owes a fiduciary duty of loyalty to its two subsidiary corporations ResortCo and CruiseCo. XYZ breaches that duty by preferring itself at a subsidiary's expense unless such preferential treatment is shown to be entirely fair to the subsidiary. XYZ's demand that ResortCo stop charging fees to CruiseCo is a form of self-dealing that allows one subsidiary (here CruiseCo)—and indirectly, the parent (here, XYZ)—to gain an unfair financial advantage to the detriment of another subsidiary (ResortCo). XYZ thus most likely breached its fiduciary duty to ResortCo.

ResortCo's minority shareholders probably cannot successfully challenge its board of directors' decision not to declare a dividend. Any such challenge would be through a direct claim, as the minority shareholders would be alleging that they were directly harmed, not that the failure to pay dividends harmed ResortCo. The declaration of a dividend is dependent on the exercise of the board of directors' good-faith discretion. Courts will not interfere with directors' refusal to declare dividends unless a shareholder demonstrates that the decision was self-interested, uninformed, made for a wrongful purpose, or taken in bad faith. Here, the decision by ResortCo's board not to pay a dividend was well-informed and motivated by a rational business

objective. There is also no evidence that ResortCo's directors were acting selfishly or in bad faith. Thus, ResortCo's minority shareholders will most likely fail in an action to compel a dividend.

The final issue is whether the decision of ResortCo's board of directors to purchase Ava's land will be protected by the business judgment rule. ResortCo's directors, feeling some time pressure, decided to make a major land purchase after only 15 minutes of discussion and without receiving any additional guidance on the wisdom or fairness of the transaction from financial experts. Under these circumstances, a court will most likely find that the directors breached their duty of care by not becoming adequately informed during their decision-making process. The ResortCo directors' decision to purchase Ava's land will likely not be protected by the business judgment rule.

Point One (33%)

XYZCorp, as the controlling shareholder of ResortCo, most likely breached a fiduciary duty of loyalty to ResortCo and ResortCo's minority shareholders by favoring the financial interests of XYZ's other subsidiary, CruiseCo, in a way that was unfair and detrimental to ResortCo.

Under the common law, controlling shareholders owe fiduciary duties to minority shareholders. *See generally* James D. Cox & Thomas Lee Hazen, *Business Organizations Law* § 11:11 (5th ed. 2020). A controlling shareholder is a shareholder that has sufficient voting power to elect the majority of the board. Because controlling shareholders can exercise their power in ways that prove detrimental to minority shareholders, courts impose a fiduciary duty of loyalty on controlling shareholders that parallels the duty owed by corporate directors. *Id.* In some states, this duty is described as one to refrain from deriving an improper personal benefit at the expense of the minority shareholder. *See, e.g., Data Key Partners v. Permira Advisers LLC*, 849 N.W.2d 693, 706 (Wis. 2014). Even if the duty were characterized in that way, it would cover the type of action engaged in here.

When a parent exercises its control in a way that prefers its own interests to the detriment of a subsidiary, the courts often place the burden on the parent to prove that the transaction was entirely fair to the subsidiary.

Here, XYZ's ownership of 90% of the common stock of ResortCo makes it a controlling shareholder (parent) that owes a fiduciary duty to ResortCo and its minority shareholders. XYZ used its power over ResortCo to prefer its own interests at the expense of ResortCo and ResortCo's minority shareholders. Because XYZ was concerned about the declining value of its investment in CruiseCo, XYZ ordered its other subsidiary, ResortCo, to stop charging CruiseCo docking fees. This action enabled CruiseCo—and indirectly XYZ—to gain a financial advantage to ResortCo's detriment.

[NOTE: The facts do not mention the existence of any exculpation charter provisions. Thus, there is no need to analyze how such a provision might impact XYZ's potential liability for breach of fiduciary duty.

Nor does the question ask whether this would be a direct or derivative claim.]

Point Two (34%)

ResortCo's minority shareholders cannot successfully challenge the board's decision not to declare a dividend this year.

Whether dividends will be paid, and in what amount, is to be determined in the good-faith discretion of the corporation's board of directors. Cox & Hazen, *supra*, § 20.2 (describing directors' general discretion over the declaration of dividends as "well-settled doctrine"). This approach means that directors "are given a great deal of discretion to use corporate resources to expand the business . . . and to establish various reserves if they consider it to be in the interests of the corporation to do so." *Id.*

This hands-off approach to judicial interference in board decisions, including the decision whether to pay dividends, is known as the "business judgment rule." The rule creates a rebuttable presumption that directors' decisions are made in good faith and in the best interests of the corporation. Unless a shareholder rebuts the business judgment rule presumption, courts will not second-guess a board's decision. See Cox & Hazen, *supra*, § 10.1. Shareholders can rebut the business judgment rule presumption by showing that directors breached their fiduciary duty of care or loyalty in connection with a challenged transaction. The primary way in which directors might breach their duty of care is by failing to become adequately informed during their decision-making process. See *id.*; MBCA § 8.31(a). Directors breach their duty of loyalty through self-dealing.

Where a shareholder challenges the nonpayment of a dividend to which it is allegedly entitled, that shareholder generally makes a direct claim against the board rather than a derivative claim. That is because the failure to declare a dividend would be a harm suffered only by the shareholder, not the corporation. Moreover, the recovery would go only to the shareholder, not the corporation. See *Strougo v. Bassini*, 282 F.3d 162, 171 (2nd Cir. 2002) ("[W]hen the shareholders of a corporation suffer an injury that is distinct from that of the corporation, the shareholders may bring direct suit for redress of that injury; there is shareholder standing. When the corporation is injured and the injury to its shareholders derives from that injury, however, only the corporation may bring suit; there is no shareholder standing."). As such, the shareholder does not need to comply with the various formalities (such as making a demand on the board to bring the lawsuit or show why demand would be futile) associated with bringing a derivative claim.

With respect to the ResortCo directors' refusal to declare a dividend, the evidence suggests that the directors acted in accordance with all their fiduciary obligations. The directors acted with due care by becoming fully informed and engaging in a thorough decision-making process. They received independent guidance on the matter from both an outside accountant and a private law firm. They also deliberated at length and received a report on the financial implications of their decision from the company's chief financial officer prior to acting. There is also no suggestion that the directors acted self-interestedly. For example, nothing in the fact pattern indicates that the directors withheld a dividend so that they could award themselves excessive compensation or squeeze out a minority shareholder. Accordingly, a shareholder will be unable to rebut the presumption created by the business judgment rule that the directors' refusal to declare a dividend was fully informed, reasonable, and in the best interests of the corporation.

Here, any claim by minority shareholders of ResortCo against the board would be a direct claim. That is because any alleged failure by ResortCo's board to pay a dividend to which shareholders are allegedly entitled would be a loss suffered only by the shareholders, not ResortCo. Moreover, any recovery would go to the shareholders, not Resort Co. As such, they do not need to comply with the formalities associated with bringing a derivative claim.

[NOTE: Some courts apply an even more deferential standard to the decision whether to pay dividends. *Cox & Hazen, supra*, § 20.2. According to that standard, courts will not interfere with directors' decisions to declare or withhold dividends in the absence of "fraud or gross abuse of discretion." *Id.* (citing *Baron v. Allied Artists Pictures Corp.*, 337 A.2d 653, 659 (Del. Ch. 1975)). On the rare occasions when courts have sided with shareholders seeking to compel dividends, the facts generally suggest that the directors acted self-interestedly, in bad faith, with a motive of driving minority shareholders out of the corporation, or to advance a purpose unrelated to the corporation's business. *Id.*

Here, nothing in the facts presented suggests that ResortCo's directors refused to declare a dividend fraudulently, in bad faith, or in gross abuse of their discretion. The ResortCo directors' decision to withhold a dividend was for a temporary period (one year), and it was based on a reasonable business objective of building new hotels to expand the company's market share. Goals of growing the business or making improvements to corporate property are among the reasonable grounds that courts have found sufficient to justify a board's decision not to declare dividends. *Id.* (citing cases). Moreover, the ResortCo directors were fully informed, as noted above. It is therefore most likely that a court would uphold the ResortCo directors' refusal to declare a dividend.]

Point Three (33%)

The decision by ResortCo's directors to purchase Ava's land most likely will not be protected by the business judgment rule because the directors breached their fiduciary duty of care by not becoming adequately informed during the decision-making process.

The corporation's board of directors is responsible for corporate decision-making. *See* MBCA § 8.01(b) ("Except as provided in a [shareholder agreement], and subject to any limitation in the articles of incorporation . . . , all corporate powers shall be exercised by . . . the board of directors."); *see also* Delaware Gen. Corp. Law § 141(a) ("The business and affairs of every corporation . . . shall be managed by or under the direction of a board of directors, except as may be otherwise provided . . . in its certificate of incorporation."). Judicial review of board decision-making is governed by a doctrine known as the "business judgment rule." The business judgment rule embodies a "hands off" approach to judicial interference in corporate decisions. The rule creates a rebuttable presumption that directors' decisions are made in good faith and in the best interests of the corporation. Unless a shareholder rebuts the business judgment rule presumption, courts will not second-guess a board's decision. *Cox & Hazen, supra* § 10.1.

Shareholders can rebut the presumption created by the business judgment rule by, among other things, showing that directors breached their duty of care in connection with a challenged transaction. *See id.*, § 10.2; MBCA § 8.31(a)(2)(ii)(B). The primary way in which directors might breach their duty of care is by failing to become adequately informed during their

decision-making process. MBCA § 8.31(a)(2)(ii)(B). To be adequately informed when making decisions, directors must become informed to the degree that "a person in a like position would reasonably believe appropriate under similar circumstances." MBCA § 8.30(b). The MBCA's reference to "similar circumstances" allows courts to consider the complexity or the exigency of the circumstances surrounding a challenged transaction. The overall focus in this context is on the quality of the deliberations, diligence, and research that go into board decisions. If the corporation's directors became informed to an extent reasonable under the circumstances, then courts will not interfere with their business judgment.

Here, the decision of ResortCo's directors to purchase Ava's land will most likely not be protected by the business judgment rule. A strong argument can be made that the directors breached their duty of care by failing to become adequately informed about the purchase prior to voting to authorize it. The directors spent just 15 minutes discussing a major business transaction involving the purchase of land for \$50 million, on the same day that they learned of the opportunity, and they failed to gather any additional advice from either outside or inside financial experts. In these respects, the case resembles *Smith v. Van Gorkom*, 488 A.2d 858 (Del. 1985). The *Smith* court found that corporate directors breached their duty of care by similarly not adequately informing themselves when voting to approve the sale of the company. Among the most significant informational deficiencies identified by the court, the directors met for only two hours, had insufficient notice about the decision to be made, did not obtain guidance from an outside expert on the fairness of the sale price, did not question the company's internal financial officer about how he concluded that the sale price was in the range of fair, and did not question Van Gorkom about his role in setting the price or orchestrating the deal. 488 A.2d at 874.

Although the directors might argue that Ava's insistence on receiving an answer within 48 hours created exigent circumstances justifying an accelerated and abbreviated decision-making process, the deadline that Ava imposed was not so extreme as to make it impossible for the directors to engage in meaningful deliberations or conduct additional research into the transaction's fairness and financial impact on the company. Indeed, in *Smith*, the directors were given a deadline of three days to decide and yet the court deemed inadequate their two-hour meeting to discuss the transaction, especially given the absence of outside guidance on the deal's fairness. In sum, no directors in the same position as ResortCo's directors would reasonably believe it was appropriate to approve a transaction of this magnitude and under these circumstances without performing more robust deliberations and due diligence.

JULY 2024 MEE
ANALYSIS 3 – CONSTITUTIONAL LAW

CNL (III.B.1; IV.A., B.1, C.3 & E.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1)(a) Does the State A statute substantially impair the contract between CarCo and the dealer?
- (1)(b) Is the State A statute drawn in an "appropriate" and "reasonable" way to advance a significant and legitimate public purpose?
- (2) Is the State A statute's different treatment of automobile manufacturers rationally related to a legitimate government interest?
- (3) Is the State A statute's burden on CarCo's substantive due process liberty interest rationally related to a legitimate government interest?

DISCUSSION

Summary

First, Article I, section 10 of the Constitution provides that "[n]o state shall . . . pass any . . . Law impairing the Obligation of Contracts." Because the State A statute makes unenforceable a term in an existing contract between private parties, the threshold question is whether the law "operate[s] as a substantial impairment of a contractual relationship." Here, the State A statute substantially impairs CarCo's rights under the dealership agreement because CarCo would not have anticipated the statute when the agreement was entered into, and the unilateral right to terminate was an important contract term.

Second, a court would likely find that the State A statute is not an appropriate and reasonable way to advance a significant and legitimate public purpose because it lacks the hallmarks of such a law. While arguments might be made either way, the statute apparently does not address a general societal problem, such as a statewide economic crisis or natural disaster, but rather was enacted in response to specific private conduct. The statute does not cover threats to the government's interest (i.e., the unequal bargaining power between automobile dealers and manufacturers in the state), but rather targets only a subset of those threats (i.e., only rural dealerships). And last, the statute is not a temporary measure but rather imposes an indefinite requirement. Thus, the statute likely violates the Contracts Clause.

Because the statute does not discriminate against a suspect classification and is not based on gender, the law is subject to rational basis review under the Equal Protection Clause. The statute is rationally related to State A's legitimate interest in protecting automobile dealers from the greater bargaining power of automobile manufacturers. Thus, the statute does not violate the Equal Protection Clause.

Because the statute does not burden a fundamental liberty interest, the law is subject to rational basis review under substantive due process. Again, because the statute is rationally related to State A's interest in addressing the imbalance of bargaining power between automobile manufacturers and dealers, it does not violate CarCo's substantive due process rights.

Point One – Contracts Clause (33% total weight)

General principles (11%)

Three general legal principles apply to analysis under the Contracts Clause of the U.S. Constitution. U.S. Const. art. I, § 10.

First, the Contracts Clause applies only when a state law retroactively regulates contracts made before the law was enacted.

Second, when the Contracts Clause applies, the threshold issue is the degree to which state law impairs or interferes with the party's contract. The degree of impairment must be substantial or significant to trigger further analysis.

Third, if a state law substantially impairs the party's contract, courts apply a means-end balancing test to determine whether the law is constitutional. The applicable test is a form of intermediate scrutiny: the statute must be (a) a reasonable and appropriate way to (b) advance a significant and legitimate government purpose.

Point One(a) (11%)

The State A statute substantially impairs the obligation of contracts between automobile manufacturers and dealers because it overrides an important contract term, and the parties could not have anticipated enactment of the statute when they entered into the agreement.

The Contracts Clause of the U.S. Constitution provides that "[n]o state shall . . . pass any . . . Law impairing the Obligation of Contracts." U.S. Const. art. I, § 10. Because the dealership agreement is between private parties, the first step of the Contracts Clause analysis is to determine whether the challenged law "substantially impairs" the obligations under the parties' contract. The Supreme Court has explained that this first step has three questions: "whether there is a contractual relationship, whether a change in law impairs that contractual relationship, and whether the impairment is substantial. Normally, the first two are unproblematic, and we need address only the third." *General Motors Corp. v. Romein*, 503 U.S. 181, 186 (1992). As is typical, the first two questions are "unproblematic" in this case; there is a contact between the automobile manufacturer and the dealer, and the state law impairs that contract by altering the provision on termination of the agreement. The question, then, is whether that impairment is substantial.

The Court's cases have considered three circumstances in determining whether a challenged state law substantially impairs private contracts. First, a state law does not substantially impair a contract if it merely tracks the contracting parties' likely intent or expectation, or allows a contracting party to easily override the statutory provision. *See Sveen v. Melin*, 584 U.S. 811, 819 (2018) (state law voiding ex-spouse as life insurance beneficiary after a divorce did not impair the insurance contract when it allowed the insured to simply re-designate the former spouse as a beneficiary). Here, the state statute is clearly contrary to CarCo's intent.

Second, a state statute will not impair private contracts if it merely enters an area already heavily regulated by the state, so that the parties could have anticipated the challenged law. *City of El Paso v. Simmons*, 379 U.S. 497, 514 (1965). Here, that is not the case. Neither the state's statutory nor common law had specifically regulated agreements between automobile manufacturers and dealers, and the question provides no facts suggesting that CarCo could have anticipated the statute at the time it entered into the dealership agreement.

Third, a state statute substantially impairs the obligation of a private contract if it negates a contract term that was important to the parties' bargain or that "substantially induced" a party to enter into the agreement, *id.*, as opposed to merely burdening an ancillary aspect of the contract. *See id.* at 515. Here, the affected contract provision is important to CarCo's contract because CarCo's ability to terminate a poorly performing dealership protects both profitability and overall brand value in a region. The dealers may respond that the statute does not prohibit termination of a dealership but rather limits the reasons for doing so. CarCo would respond that the statute defeats the contractual right that it had bargained for: unilateral termination upon 60 days' notice without any recourse. Also, CarCo has consistently refused to omit the term from dealership agreements. Consequently, the state statute likely substantially impairs the obligation of CarCo's private contract.

Point One(b) (11%)

The State A statute arguably is not an appropriate and reasonable measure to serve a significant and legitimate state interest. Thus, the statute likely violates the Contracts Clause.

Home Building & Loan Ass'n v. Blaisdell, 290 U.S. 398 (1934), established that a state may impair private contracts in the name of a sufficient public purpose. There, the state imposed a temporary moratorium on mortgage payments to protect homeowners from the economic devastation brought on by the Great Depression. *Id.* at 416. The Court has since explained that less dire circumstances will justify impairment of a private contract, requiring a significant and legitimate government interest. *Energy Reserves Group, Inc. v. Kansas Power & Light Co.*, 459 U.S. 400, 412 (1983) ("since *Blaisdell*, the Court has indicated that the public purpose need not be addressed to an emergency or temporary situation.").

The requirement that the law be tailored to a significant and legitimate interest ensures that a state is addressing a public concern as opposed to simply favoring a narrow, private interest. *Id.* Here, it could be argued that the State A statute had a significant and legitimate state interest. For example, in *Energy Reserves Group*, the Court found a significant and legitimate government interest in protecting consumers from escalation of gas prices due to deregulation of the gas industry. 459 U.S. at 417 ("The State reasonably could find that higher gas prices have caused

and will cause hardship among those who use gas heat but must exist on limited fixed incomes"). Here, State A arguably has a similar interest in promoting the economic well-being of its rural communities and rural car dealers.

While the State A statute may serve a sufficient purpose, it is likely that the statute's means of achieving that purpose are not reasonable and appropriate. In *Allied Structural Steel v. Spannaus*, 438 U.S. 234, 247 (1978), the Court found that the state did not have a sufficient public interest to support a law that substantially increased an employer's contractual obligation to fund employee pensions. The Court noted three hallmarks that led to its invalidation of the state law. First, unlike the statute in *Blaisdell*, the law did not address a general societal problem (i.e., the economic dislocation from the Great Depression), but rather targeted specific conduct by a set of private actors. *Id.* Second, the state law targeted the employee pensions of one or a small number of businesses that had moved out of state, rather than regulating all employee pensions that posed similar policy problems. *Id.* at 250 (the law's "narrow aim was leveled, not at every Minnesota employer, not even at every Minnesota employer who left the State, but only at those who had in the past been sufficiently enlightened as voluntarily to agree to establish pension plans for their employees."). Third, unlike the moratorium in *Blaisdell*, the law was not a temporary measure limited to the duration of a crisis. *Id.*

The State A statute arguably bears each of the hallmarks of unconstitutionality. First, it does not address a general problem throughout the state, but rather targets a specific concern about the relationship between automobile manufacturers and dealers. Second, the statute does not apply to all dealership agreements, but only agreements with dealers in counties with fewer than 1,000 residents. Third, the statute is not a temporary measure, but rather applies indefinitely. For these reasons, a court could decide that the statute violates the Contracts Clause because it is not an appropriate or reasonable means for achieving State A's purpose.

[NOTE: While the above analysis offers a likely outcome for Point One(b), it also notes that the opposite outcome is arguable. Thus, regardless of the conclusions, an answer should receive full credit if it states the proper test (the law is reasonable and appropriate to achieve a significant and legitimate government interest) and applies that test to the relevant facts.]

Point Two (34%)

The statute does not violate the Equal Protection Clause because it is rationally related to State A's legitimate interest in addressing the imbalance of bargaining power between automobile manufacturers and dealers.

The Equal Protection Clause of the Fourteenth Amendment provides: "No state shall . . . deny to any person within its jurisdiction the equal protection of the laws." U.S. Const., amend. XIV, § 1. The Supreme Court has applied three tiers of scrutiny under this Clause. See John E. Nowak and Ronald D. Rotunda, *Constitutional Law* § 14.3(a)(v) (8th ed. 2010). Strict scrutiny applies to laws that intentionally discriminate based on race or national origin. See *id.* Intermediate scrutiny applies to laws that intentionally discriminate based on sex or against non-marital children. See *id.* And rational basis review applies to all laws that do not receive strict or intermediate scrutiny. See *id.* The face of the State A statute does not discriminate on any basis that would receive strict or intermediate scrutiny, and the statute's legislative history does not reveal an intent to do so.

See *Washington v. Davis*, 426 U.S. 229, 246–47 (1976). Consequently, rational basis review is the proper Equal Protection standard of review for the State A statute. Cf. *Fitzgerald v. Racing Ass'n of Central Iowa*, 539 U.S. 103, 107 (2003) (applying rational basis review to a "law [that] distinguishes for tax purposes among revenues obtained within the State of Iowa by two enterprises, each of which does business in the State.").

Rational basis review requires that the challenged law be rationally related to a legitimate government interest. See *Minnesota v. Clover Leaf Creamery Co.*, 449 U.S. 456, 462–63 (1981). The Court has held that any government purpose other than bias or animus will satisfy this requirement. See *Village of Willowbrook v. Olech*, 528 U.S. 562, 564 (2000) (per curiam). The Court will accept the government's asserted purpose for the law, and it will not credit evidence of a supposed "actual purpose" harbored by members of the legislature outside the legislative record. See *Clover Leaf Creamery Co.*, 449 U.S. at 463 n.7 ("We will not invalidate a state statute under the Equal Protection Clause merely because some legislators sought to obtain votes for the measure on the basis of its beneficial side effects on state industry."). Here, the Court would accept the state legislature's asserted purpose of addressing an inequality of bargaining power, and it would not accept evidence of the privately expressed views of members of the State A legislature concerning their anger toward automobile manufacturers. And promoting the economic success of an industry like automobile dealers is a legitimate government purpose. See *Fitzgerald*, 539 U.S. at 108 (legislative purpose of promoting the economic interests of racetracks was a legitimate state interest).

The Court gives great deference to the government in deciding whether a challenged law is rationally related to the government's legitimate interest. *FCC v. Beach Comm'ns, Inc.*, 508 U.S. 307, 314 (1993) ("On rational-basis review, a classification in a statute . . . comes to us bearing a strong presumption of validity"). The law "must be upheld against equal protection challenge if there is any reasonably conceivable state of facts that could provide a rational basis for the classification." *Id.* at 313. A court may hypothesize such a rational basis, and courts will not receive evidence that the law does not serve the government's purpose. For example, in *Clover Leaf Creamery Co.*, the state had enacted a statute that banned the sale of milk in certain plastic containers while permitting paperboard containers, and the law recited a purpose of environmental conservation. 449 U.S. at 458–59. At trial, a manufacturer of plastic containers offered evidence that the legislature's true purpose was simple economic protectionism. The Court refused to consider this evidence and upheld the law because banning plastic containers conceivably achieved the state's asserted interest in conservation. *Id.* at 473; see also *Beach Comm'ns*, 508 U.S. at 315 ("because we never require a legislature to articulate its reasons for enacting a statute, it is entirely irrelevant for constitutional purposes whether the conceived reason for the challenged distinction actually motivated the legislature.").

Here, the classification is automobile manufacturers versus other contracting parties, and so the question is whether State A has a conceivable basis for treating these two groups differently. A court would credit the state's assertions that automobile dealership agreements involve a greater imbalance of bargaining power than other contracts and that requiring termination only for good cause will address that concern. The relative bargaining power of contracting parties is the type of empirical question entrusted to legislatures, and courts will defer to that judgment under rational basis review. See *Beach Comm'ns*, 508 U.S. at 314. Consequently, a court would likely

find that the different treatment of automobile dealership agreements is rationally related to the government's interest in addressing imbalances in bargaining power.

[NOTE: The Court has applied a heightened form of rational basis review when a law's official administrative or legislative record contains evidence of animus or bias. For example, in one case, the legislative history of a welfare law contained language indicating bias against "hippie communes," see *U.S. Dept. of Agriculture v. Moreno*, 413 U.S. 528 (1973), and in another case, a city argued that it denied a permit for a group home for persons with intellectual disabilities because of the negative attitudes of neighbors. *City of Cleburne v. Cleburne Living Ctr.*, 473 U.S. 432, 448 (1985). In both cases, official statements indicating animus led the Court to heighten its scrutiny. Here, there are no such official statements. Rather, the statements about "anger" and "getting back at them" were all made privately, outside of the legislative record. And under rational basis review, the Court has not allowed litigants to put on evidence of such statements to prove the government's "actual purpose." See *Clover Leaf Creamery*, 449 U.S. at 463–69.]

Point Three (33%)

The statute does not violate CarCo's substantive due process rights because it is rationally related to State A's legitimate interest in promoting the economic stability of its rural communities.

The Due Process Clause of the Fourteenth Amendment provides: "nor shall any state deprive any person of life, liberty, or property, without due process of law." U.S. Const., Amend. XIV, § 1. The Court has long interpreted this language to protect more than the right to fair process, holding that the word "liberty" ensures that laws are also substantively fair. See *Washington v. Glucksberg*, 521 U.S. 702, 719–20 (1997). For fundamental liberties, like aspects of the right to privacy, the Court applies strict scrutiny to laws that burden the liberty interest. *Id.* at 720. For some specific fundamental liberty interests, such as the right of a fit parent to make decisions for a minor child, the Court applies a specific test to assess a law's constitutionality. See *Troxel v. Granville*, 530 U.S. 57, 66–67 (2000). All other liberty interests are classified as "ordinary" (and not "fundamental"), and the Court applies rational basis review to laws that burden these "ordinary" liberty interests. See *Glucksberg*, 521 U.S. at 728.

Here, CarCo is not asserting either a fundamental liberty interest like personal privacy or an otherwise specifically protected liberty interest like parental rights. Rather, the liberty interest to be free from the statute's "good cause" requirement is an ordinary liberty interest in freedom of contract. See *Williamson v. Lee Optical of Okla., Inc.*, 348 U.S. 483, 488 (1955) ("The day is gone when this Court uses the Due Process Clause of the Fourteenth Amendment to strike down state laws, regulatory of business and industrial conditions, because they may be unwise, improvident, or out of harmony with a particular school of thought."). And so, rational basis review applies to CarCo's substantive due process challenge to the State A statute.

As with Equal Protection, substantive due process rational basis review requires only that the challenged law is rationally related to a legitimate government interest. Also, substantive due process rational basis review similarly accepts the government's asserted interest and defers to the government's judgment that the burden on an ordinary liberty interest is rationally related to the interest. Thus, for the same reasons discussed in Point Three, the statute would survive substantive due process rational basis review.

JULY 2024 MEE
ANALYSIS 4 – CONTRACTS

CTR (I.; II.F.; IV.C. & H.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Did the store owner and SignCo form a contract on May 1?
- (2) Assuming that the store owner and SignCo formed a contract on May 1, is it enforceable against the store owner even though she did not sign a document reflecting the agreement?
- (3) Assuming that the May 1 agreement constitutes a contract that is enforceable against the store owner, is the store owner bound to accept the sign from the substitute manufacturer?

DISCUSSION

Summary

This is a transaction in goods governed by Article 2 of the Uniform Commercial Code (UCC). Under Article 2, a contract may be made in any manner sufficient to show agreement. Here, the discussions of May 1 clearly show such an agreement. Even though the contract is for the sale of goods for a price of \$500 or more, and thus within the UCC Article 2 statute of frauds, it is enforceable against the store owner notwithstanding the lack of a writing signed by her because of the exception to the Article 2 statute of frauds relating to specially manufactured goods.

SignCo's delegation to the substitute manufacturer of its duty to supply the sign is allowed because there was no agreement with the store owner prohibiting such delegation and it does not appear that the store owner had a substantial interest in having SignCo (and not the substitute manufacturer) perform so long as the sign met the specifications of the contract. The store owner is bound to accept the sign from the substitute manufacturer.

Point One(a) (5%)

This transaction is governed by Article 2 of the Uniform Commercial Code.

Article 2 of the Uniform Commercial Code governs "transactions in goods." UCC § 2-102. UCC § 2-105(1) defines "goods" as "all things (including specially manufactured goods) which are

movable at the time of identification to the contract for sale." Therefore, the sign constitutes goods, and the transaction is governed by UCC Article 2.

Point One(b) (15%)

The May 1 oral agreement is sufficient to form a contract for the sale of the sign.

UCC § 2-204(1) states that a contract for the sale of goods may be made "in any manner sufficient to show agreement, including conduct by both parties which recognizes the existence of such a contract." The May 1 meeting during which the store owner and the SignCo representative orally agreed that the store owner would buy the sign from SignCo is sufficient to show agreement. Therefore, UCC § 2-204(1) is satisfied and there is a contract between the store and SignCo, the original manufacturer. This is the case even if we cannot pinpoint a moment at which the contract was made. UCC § 2-204(2). Moreover, the agreed-upon transaction is clearly supported by consideration.

Point Two (40%)

Because the contract is for the sale of goods for a price of \$500 or more, the Article 2 statute of frauds requires a writing signed by the party against whom enforcement is sought unless an exception applies. While there is no such signed writing, the contract is enforceable against the store owner because of the exception to the statute of frauds relating to specially manufactured goods.

Under UCC § 2-201(1), a contract for the sale of goods for the price of \$500 or more is not enforceable unless the party against whom enforcement is sought has signed a writing "sufficient to indicate that a contract for sale has been made" or an exception in that section applies. Here, the store owner has not signed any writing, so the contract, which is for the sale of goods for a price in excess of \$500, would not be enforceable against her unless an exception applies.

The only applicable exception to the writing requirement in this case is the exception for specially manufactured goods that appears in UCC § 2-201(3)(a). Under that exception, a contract that does not satisfy the writing requirement of subsection (1) is nonetheless enforceable "if the goods are to be specially manufactured for the buyer and are not suitable for sale to others in the ordinary course of the seller's business, and the seller, before notice of repudiation is received and under circumstances which reasonably indicate that the goods are for the buyer, has made . . . a substantial beginning of their manufacture." In this case, the store owner and SignCo agreed on the sale of a 10-foot-long sign displaying the store's unique name. This sign clearly constitutes goods specially manufactured for the store owner, and the sign would not be suitable for sale to others in the ordinary course of SignCo's business in light of the fact that it was customized and bears the unique name of the store. When SignCo substantially began shaping the glass into the store's name, that was a substantial beginning of the manufacture of goods under circumstances that reasonably indicated that the goods were for the buyer. Thus, the exception in UCC § 2-201(3)(a) is satisfied, and the contract is enforceable against the store owner.

Point Three (40%)

The store owner is bound to accept a sign conforming to the agreed-upon specifications from the substitute manufacturer even though her agreement was with SignCo.

On May 9, SignCo entered into an agreement with the substitute manufacturer pursuant to which the substitute manufacturer agreed to supply the sign to the store owner in accordance with the agreement between SignCo and the store owner. This constitutes a delegation of SignCo's duties under the contract. Such a delegation is generally allowed by Article 2 of the Uniform Commercial Code. UCC § 2-210 provides that "[a] party may perform his duty through a delegate unless otherwise agreed or unless the other party has a substantial interest in having his original promisor perform or control the acts required by the contract."

The facts do not indicate that the store owner and SignCo agreed that SignCo's duties could not be delegated to another company, and there is no indication that the store owner had a substantial interest in having only SignCo supply the new sign without delegating its obligations under the contract. In assessing whether a buyer has a substantial interest in the identity of the performing party, the courts typically look at whether the performance is personal in the sense that the performing party possesses certain skills or reputation that the recipient is relying on. The recipient party's mere preference for the original party to perform is insufficient. *See, e.g., Macke Co. v. Pizza of Gaithersburg, Inc.*, 270 A.2d 645 (Md. 1970). While it is clear that the store owner has a substantial interest in receiving a sign that conforms to the contractual specifications, there are no facts here suggesting that the store owner has a substantial interest in having SignCo provide such a sign. Indeed, the store owner selected SignCo for its advertised prices, not for any special artistic skill or other distinctive feature of SignCo's business. Therefore, SignCo could delegate its duties under its contract with the store owner to the substitute manufacturer, and the store owner is bound to accept the sign.

[NOTE : While the store owner's May 12th assertion that she had no intention of accepting the sign from the substitute manufacturer likely constitutes anticipatory repudiation, that is not relevant to the question asked. As this contract is governed by the UCC, it would be appropriate to refer to store owner's obligation to accept only if the goods are conforming goods as the store owner's "right to perfect tender."]

**JULY 2024 MEE
ANALYSIS 5 – FAMILY LAW**

FAM (IV.C., E. & F.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Are the facts legally sufficient to authorize the trial court to consider modification of the original custody order?
- (2) Assuming that the facts authorized modification, should the trial court modify the original custody award to grant Harvey and Wanda joint physical and legal custody of their daughter?

DISCUSSION

Summary

Generally, reconsideration or modification of a child-custody order is discouraged close in time to the original order. Here, just two months have elapsed since the trial court entered its original order. Nonetheless, modification of a child-custody order is authorized if there has been a substantial change of circumstances that affects the child's welfare. Here, there are no facts warranting that conclusion. Harvey's post-divorce, nonmarital cohabitation might, in some states, constitute a substantial change of circumstances allowing modification of custody. However, Wanda did not show that the cohabitation negatively affected the daughter's welfare, in particular the daughter's safety or her relationship with her parents. Indeed, the daughter stated that "Patrice is fine" and did not attribute her feelings of anger to Harvey's cohabitation with Patrice. Also, the daughter did not express a preference for a change in her custody.

Even assuming that the facts authorize the trial court to consider modification of its original child-custody order, the trial court should not order that Harvey and Wanda have joint physical and legal custody, as that would not be in the daughter's best interest. Harvey and Wanda have never agreed to joint physical and legal custody, are still bitter toward each other even after the divorce, and are unlikely to cooperate regarding parental decision-making and day-to-day parenting matters. Furthermore, the facts do not support a conclusion that the daughter is seriously unhappy or endangered in Harvey's home or that she prefers to live with Wanda.

Point One (55%)

The facts are legally insufficient to authorize a modification of the original custody order. Wanda failed to establish a substantial change of circumstances since the original order was entered, and the evidence did not show that Patrice's move into Harvey's home endangered or even affected

the daughter's well-being. Further, Wanda petitioned for modification only two months after entry of the original custody order, which is strongly disfavored.

(a) Requirement of change of circumstances (50% total weight—cohabitation & custody)

Custody orders are modifiable, but modification is impermissible unless there has been a substantial, or material, change in circumstances since the initial order was entered. John Gregory, et al. *Understanding Family Law* § 11.06[A] (4th ed. 2013). Further, some states require that the change in circumstances be unforeseen or unforeseeable. For example, the Uniform Marriage and Divorce Act (UMDA), 9A U.L.A. 211 § 409(b) (1979) requires that there be "facts that have arisen since the prior decree or that were unknown to the court at the time of entry of the prior decree."

Harvey's nonmarital cohabitation (25%)

In some states, appellate courts have held that a custodial parent's post-decree nonmarital cohabitation represents a change of circumstances sufficient to warrant a modification hearing. *See Word v. Remick*, 58 S.W.3d 422, 427 (Ark. Ct. App. 2001); *Todd v. Casciano*, 569 S.E.2d 566, 570 (Ga. Ct. App. 2002); *Masters v. Masters*, 52 So. 3d 1279 (Miss. Ct. App. 2011). In these states, an appellate court would likely find that the trial court did not err in hearing evidence on modification. But, even in states that authorize a hearing in these circumstances, modification is typically disallowed unless the petitioner shows that the nonmarital cohabitation has an adverse impact on the child. *See* UMDA § 402 ("The court shall not consider conduct of a proposed custodian that does not affect his relationship to the child."); *Pingree v. Cossette*, 424 P.3d 371, 384 (Alaska 2018) ("courts may properly consider the sexual conduct of a parent when there is 'evidence of an adverse effect to the parent-child relationship'"); *Cooper v. Coulter*, 783 S.E. 350, 352–53 (Ga. Ct. App. 2016) (same); *Denham v. Denham*, 351 So. 3d 954, 963 (Miss. 2022). Here, Wanda presented no evidence at the hearing to show an adverse impact on the daughter due to Harvey's cohabitation with Patrice. Although the daughter indicated that she was angry because her parents divorced, there is no evidence that her feelings were attributable to Patrice's move into Harvey's home or placed her at risk of harm. In fact, to the contrary the daughter testified that Patrice was "fine."

Daughter's custody preference (25%)

A child's custody preference is relevant to a custody determination, and a change in a child's custody preference can constitute a substantial change of circumstance warranting modification of custody. *See In re Marriage of Sutton*, 16 N.E.3d 481 (Ind. Ct. App. 2014). Here, the daughter originally indicated that she blamed her mother for the divorce and wanted to live with her father. At the modification hearing, she testified that she missed her mother and would not mind seeing her more. The daughter's testimony does not clearly indicate any alteration of her custody preference; she did not testify that she wanted to live with Wanda or that she did not want to live with Harvey. Nor did the evidence show that her feelings of anger were attributable to living with Harvey instead of facing her parents' divorce. Again, she testified that Patrice was "fine." For these reasons, it is highly unlikely that the daughter's testimony would be sufficient to qualify as a substantial change of circumstance permitting reconsideration of custody. *See, e.g., Dunlap v. Dunlap*, 455 P.3d 1 (OK Civ. App. 2019) (modification of custody justified where the preference is explained by the child and good reasons for the preference are disclosed and there is a permanent, material, and substantial change in circumstances); *Butland v. Butland*, 1996 WL

362038 (Ohio Ct. App. June 27, 1996) (whether child's views qualify as a substantial change of circumstance depends upon the "depth, sincerity, and the extent they reflect changed circumstances within the parent-child relationship or relationship between the parties").

[NOTE: The daughter's preference is an important factor a court should consider either in the change of circumstances analysis and/or in the decision whether to change custody.]

(b) Impact of timing of request for modification (5%)

Most states also disfavor modification when sought shortly after a custody decree has been entered; the principle of res judicata and the belief that children's interests are served by stable custody arrangements both contribute to this view. *See, e.g., Graner v. Graner*, 738 N.W.2d 9, 17 (N.D. 2007) ("The purpose of the two-year period limiting modification is to provide a moratorium and spare children the painful, disruptive, and destabilizing effects of repeat custody litigation.") Thus, if a modification petition is filed within two years of the original decree, UMDA § 409(a) authorizes a modification hearing only if the evidence suggests "there is reason to believe that the child's present environment may endanger seriously his physical, mental, moral or emotional health." In states that do not have statutory standards restricting early modification, case law typically disfavors it unless the evidence shows that the child is at risk. Gregory et al., *supra*.

Here, Wanda filed her petition just two months after entry of the original order and, as earlier discussed, the evidence did not show any risk of harm to the daughter since the original custody order. Thus, because the modification was filed so soon, most courts would find that the trial court had no authority to modify the original order.

Point Two (45%)

Assuming that the court has authority to modify its custody order, because the parents do not agree to joint physical and legal custody and have a high-conflict relationship, the trial court should not order that Harvey and Wanda have joint physical and legal custody as that order would not be in the daughter's best interest.

Even if there is a substantial, or material, change in circumstances allowing the possibility of modification of an original custody order, a court should not modify a custody order unless the change serves the child's best interest. *See* UMDA § 409(b). "Joint custody is not appropriate and not in the best interest of the children when parents are unable to make shared decisions concerning the welfare of their children. The parents' ability and willingness to communicate and cooperate is crucial in considering whether joint legal custody is proper." *White v. White*, 616 S.W.3d 373, 380 (Mo. Ct. App. 2020) (internal citations omitted). *See also Matter of Nicole J. v. Joshua J.*, 206 A.D.3d 1186, 170 N.Y.S.3d 273 (3d Dep't 2022); *In re Paternity of E.P.*, 194 N.E.3d 160 (Ind. Ct. App. 2022); *Elk v. McBride*, 344 P.3d 818, 823 (Alaska 2015).

Most courts will not impose joint custody on unwilling parents because it is generally understood that requiring hostile parents to share custody can be harmful to children. Even in states that do permit the imposition of joint custody over a parental objection, a court may not order joint custody unless it finds that this arrangement is in the child's best interest. In making this assessment, the court should consider the extent of parental conflict and the likelihood of

achieving both cooperation between the parents and a stable living situation for the child. *See* Annotation, Propriety of Awarding Joint Custody of Children, 17 A.L.R. 4th 1013 (1982 & Supp.).

Here, Harvey and Wanda's divorce and custody litigation was acrimonious, and since the marriage ended, they have continued to be hostile to each other. Their high-conflict relationship remains likely to be harmful to their daughter. Further, neither parent requested modification to joint physical and legal custody, indicating that they are unlikely to be willing to make decisions collectively. These facts weigh against a trial court modifying the initial order to provide for joint physical and legal custody.

Additionally, a joint custody order might adversely affect the teenage daughter's living situation as it would be disruptive to her life, likely causing her to lack consistency in her upbringing, her schooling, and her friendships. Here, these negatives would not be counterbalanced because the evidence is that the daughter and Patrice are "fine"; the daughter has not indicated any reluctance to living in the home with Patrice and has not expressed a firm preference to live with her mother instead of her father. Although the daughter testified that she misses her mother, her needs in this respect will be met because pursuant to the original order, Wanda will continue to have liberal, unsupervised visitation with her daughter.

JULY 2024 MEE
ANALYSIS 6 – CIVIL PROCEDURE

CIV (III.E.; V.B.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Was the man required to include information about his insurance coverage and the identity of the other witnesses to the accident in his initial disclosures?
- (2) Is information about a defendant's eyesight within the scope of discovery in a case in which the defendant is alleged to have been driving negligently at the time of a traffic accident?
- (3) How should the court rule on the woman's motion for judgment as a matter of law?

DISCUSSION

Summary

As part of his mandatory initial disclosures, the man was required to make the insurance policy on his car available for inspection and copying. He was not required to disclose information about persons with information about the case if he did not intend to use that information to support his claims.

The trial court erred in denying the woman's motion to compel the man to answer deposition questions about his eyesight. The man's relevance objection was ill-founded because questions about his eyesight were within the scope of discovery as evidence relevant to the woman's negligence claim. Moreover, the man's attorney had no basis to instruct the man not to answer questions about his eyesight or to terminate the deposition because deposition testimony is to proceed subject to any objections.

The woman's motion for judgment as a matter of law should be denied. Judgment as a matter of law is proper only when no reasonable jury could find for the nonmovant on an issue. Judgment as a matter of law is not proper simply because, as here, the evidence arguably weighs in favor of the movant. Moreover, district court judges are generally encouraged to submit a case to the jury rather than grant judgment as a matter of law.

Point One (25%)

In his initial mandatory disclosures, the man was not required to disclose information about witnesses whose testimony the man would not use to support his case. The man was required to allow inspection and copying of the insurance policy.

Federal Rule of Civil Procedure 26 requires parties to disclose certain information "without awaiting a discovery request." Fed. R. Civ. P. 26(a)(1)(A). These initial disclosures must include the names and, if known, the contact information of individuals "likely to have discoverable information" as well as the subject of that information. Fed. R. Civ. P. 26(a)(1)(A)(i). This obligation applies, however, only to individuals whose information the disclosing party "may use to support its claims or defenses." *Id.* Thus, there is no obligation to disclose the identity of, or contact details for, individuals who have relevant information if the party does not intend to use that information in support of its case.

In this case, the information that the bystander and the man's friends had was unfavorable to the man. As a result, the man would not (and did not) use their information in support of his case. The only information the man was likely to use (and did use) in support of his case was the information provided by his brother. Consequently, the man was required to disclose his brother's name and contact information, and the subject of the information the man's brother could provide. He was not required to disclose information about the other witnesses.

Rule 26 also requires a party to provide "for inspection and copying" any insurance policy under which an insurer may be responsible to satisfy (or reimburse payments made to satisfy) a judgment in a case. Fed. R. Civ. P. 26(a)(1)(A)(iv). The man's insurance policy qualified for disclosure under this rule because the insurer could be required to pay for the woman's personal injuries and property damage from the accident. As a result, the man was required to provide the insurance policy to the woman, which he did not do.

Point Two (25%)

Information about the man's eyesight was within the scope of discovery because it was relevant to the woman's negligence claim. Further, even if the objection at the deposition was proper, the man violated the federal rules by refusing to answer and terminating the deposition because the federal rules provide that a deposition should proceed with the testimony taken subject to any objections. Thus, the court erred in denying the woman's motion to compel.

The man's relevance objection—whether made in response to deposition questions or a request for production—was ill-founded. The general scope of discovery extends to any "matter that is relevant to any party's claim or defense." Fed. R. Civ. P. 26(b)(1). The woman claimed that the man had been negligent, and there was evidence indicating that the man had been looking at his phone for directions at the time of the accident. If the man's eyesight was poor, looking at his phone for directions could have required more effort and been even more irresponsible while driving. Thus, the man's eyesight was relevant to the woman's claim that he had been negligent in operating the car.

Even if the objection at the deposition was proper, the man violated the federal rules by refusing to answer and terminating the deposition because the federal rules provide that a deposition

should proceed with the testimony taken subject to any objections. An objection to deposition testimony "must be noted on the record, but the examination still proceeds; the testimony is taken subject to any objection." Fed. R. Civ. P. 30(c)(2). An instruction "not to answer" is proper "only when necessary to preserve a privilege, to enforce a limitation ordered by the court, or to present a motion [to terminate or limit the deposition]." *Id.*

Here, the man's counsel could make a relevance objection to the question asked, but the man nonetheless should have answered the questions about his eyesight. Counsel did not assert that the information sought was protected by any privilege. Nor is there any indication that the question violated a limitation imposed by court order or that counsel intended to seek a court order to terminate or limit the scope of the deposition. Under these circumstances, instructing the deponent not to answer was improper, and the man should have answered the question posed.

Accordingly, the trial court should not have denied the woman's motion to compel.

[NOTE #1: Under the federal rules, it is not a defense to a violation of the discovery rules that a party relied on the advice of counsel in taking the action subject to a motion to compel. While a court may consider a party's reliance on counsel in deciding what sanctions (if any) to impose for the violation, the question asks only whether the trial court ruled correctly on the woman's motion to compel. See Charles A. Wright, Arthur R. Miller & Richard L. Marcus, 8B Federal Practice and Procedure § 2284 at 474-75 ("Courts have also shown increasing interest in imposing a sanction against the attorney where the fault is counsel's rather than imposing the ultimate sanction against his or her client.")]

[NOTE #2: A deponent may be instructed not to answer "when necessary to preserve a privilege." Fed. R. Civ. P. 30(c)(2). Here, information about the man's eyesight was not privileged. The doctor-patient privilege might protect the man's doctor from testifying about confidential information provided within that relationship, but the privilege would not protect the man from sharing his own knowledge or standard medical records about his eyesight.

A deponent may also be instructed not to answer in order to "enforce a limitation ordered by the court, or to present a motion" to terminate or otherwise limit the deposition. Fed. R. Civ. P. 30(c)(2). There is no evidence that the court had imposed any limitations on the deposition. Moreover, the man's attorney did not instruct the man not to answer in order to pursue a motion to terminate the deposition. The man's attorney never pursued such a motion. Nor would such a motion have been appropriate if the man had pursued it. Such a motion is only appropriate when the deposition "is being conducted in bad faith or in a manner that unreasonably annoys, embarrasses, or oppresses the deponent or party." Fed. R. Civ. P. 30(d)(3)(A). The man's attorney claimed simply that the questions concerning the man's eyesight were irrelevant. The woman's attorney persisted with the questions but did so properly as objections should be noted and the questions answered. As a result, neither instructing the man not to answer nor terminating the deposition was warranted.]

Point Three (50%)

The woman's motion for judgment as a matter of law should be denied because a reasonable jury could find for the man. Moreover, appellate courts encourage trial courts to submit a case to the jury rather than grant judgment as a matter of law (JMOL) before jury deliberation.

A motion for judgment as a matter of law in a matter tried before a jury may be granted when two conditions are met: the party against whom the judgment is sought "has been fully heard on an issue" and "the court finds that a reasonable jury would not have a legally sufficient evidentiary basis to find for the party on that issue." Fed. R. Civ. P. 50(a)(1). Here, the woman properly moved for judgment as a matter of law after the man presented his case, asserting that no reasonable jury could find for the man on the issue of the man's negligence.

The evidence weighs in the woman's favor. Both the man's friends and the bystander testified that the man had been looking at his phone at the time of the accident. The only witness to the contrary was the man's brother, whom the jury could conclude was biased toward the man.

Nonetheless, judgment as a matter of law is not appropriate. Given the conflict in the testimony, a reasonable jury could credit the brother's testimony and conclude that the man was not negligently looking at his phone at the time of the accident. Indeed, because the brother was seated in the passenger seat, he arguably was in a better position to observe what the man was doing than were the man's friends, who were in the backseat, or the bystander, who would have had to observe the man's action from outside the car while the car was moving. Because a reasonable jury could find for the man on the evidence presented, the woman's motion for judgment as a matter of law should be denied.

Moreover, district courts are encouraged to refrain from granting motions for judgment as a matter of law prior to jury deliberation. See *Unitherm Food Sys., Inc. v. Swift-Eckrich, Inc.*, 546 U.S. 394, 405 (2006) ("the district courts are, if anything, encouraged to submit the case to the jury, rather than granting such motions."); Wright & Miller, 9B Federal Practice and Procedure § 2533 at 517 ("appellate courts repeatedly have said that it usually is desirable to take a verdict, and then pass on the sufficiency of the evidence on a post-verdict motion."). Consequently, they are more likely to grant a renewed motion for judgment as a matter of law after the jury has returned its verdict. If the evidence is so one-sided, the jury is likely to rule consistent with the evidence, rendering judgment as a matter of law unnecessary. And if judgment as a matter of law is reversed on appeal because it was improperly granted before submission to the jury, there would be no verdict on which to base a judgment, and a new trial would be necessary. Thus, based on both the law governing judgment as a matter of law and prudential principles, the district court should deny the woman's motion for judgment as a matter of law.

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QUESTION 1 – AGENCY AND PARTNERSHIP

Bill and Nancy recently opened a gym, "Comet Fitness," that they operate as a general partnership. Three blocks from the gym is a sporting-goods store that is having a "going-out-of-business sale" with signs in the store's windows stating that "all sales are final." Bill and Nancy are acquainted with the store owner. Last week, Bill called the store owner and said, "I hope you've got some nice treadmills; the gym could use one or more. I'll try to get over there to check them out."

The next day, Bill and Nancy ran into Kim, one of Nancy's friends, at a party. Kim is a personal trainer. Nancy had not seen Kim for several months. Nancy told Kim that she and Bill had opened a gym and that Kim should consider coming to work for them as a personal trainer. Kim said that she would think about it and let Nancy know. While Kim was walking away, she heard Bill say to Nancy, "You know, the gym has only five treadmills, but I sure wish it had two more," and heard Nancy reply, "I agree. We desperately need to buy one or two more."

The day after the party, Kim, thinking that she might be interested in the trainer job and hoping to impress Bill and Nancy with her initiative, went to the sporting-goods store. Telling the store owner that she was acting on behalf of Comet Fitness, Kim purchased a treadmill and directed the store owner to send the treadmill to Comet Fitness, along with the invoice for the purchase. The store owner agreed to do so.

Later that day, Nancy went to the sporting-goods store and purchased two treadmills for the gym. Unlike the treadmill Kim had purchased, these treadmills had built-in video touchscreens and were similar to the ones that Nancy had previously purchased for Comet Fitness. Nancy told the store owner to have the treadmills delivered to Comet Fitness along with an invoice for the purchase. When Nancy returned to the gym, she told Bill that she had bought two treadmills for the business. Bill became furious and said, "You had no right to do that without first consulting me. You should have made sure that I was with you when you bought them to make sure I'd like what you were buying. I'll return them tomorrow after they arrive unless I like what I see."

The following day, three treadmills arrived at the gym. When Bill and Nancy saw the treadmill purchased by Kim, they told the delivery person, "Take that one back. There must be a mistake—we never bought this." When Bill saw the two treadmills Nancy had bought, he told the delivery person, "Take them back, too; they're nice but not the same color as our other treadmills, and they just won't fit in." Nancy objected and told the delivery person to leave the two treadmills.

The delivery person immediately called the store owner, who said, "Leave them all at the gym. All sales are final. Tell them to pay me what they owe me."

1. Was Kim an agent of Comet Fitness when she purchased the treadmill? Explain.
2. Assuming that Kim was an agent of Comet Fitness,
 - a. did she have actual authority to purchase the treadmill for Comet Fitness? Explain.
 - b. did she have apparent authority to purchase the treadmill for Comet Fitness? Explain.
3. Did Nancy have the authority to bind Comet Fitness to the contract to purchase the two treadmills with the video touchscreens? Explain.

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QUESTION 2 – CONSTITUTIONAL LAW

Town is a small municipality. Main Street is an eight-block public road that runs through the center of Town with retail shops, restaurants, and other businesses located on each side. The roadway has two lanes of traffic in each direction, separated by a 10-foot-wide median strip on each block. Each median strip is covered with grass and trees, except for paved 10-foot segments on each end. The paved portions of the median strip are part of the crosswalk and are marked for use by pedestrians as they cross the intersections on Main Street.

A Town ordinance prohibits any person other than authorized Town personnel from entering the unpaved portions of the median strip.

The Town council received numerous complaints from Town residents about people who stood in the paved portions of the median strips at intersections on Main Street to solicit money from the drivers of vehicles that stopped at traffic signals. The residents complained that the solicitations were annoying and unwelcome. Law enforcement had no official reports that solicitations from the pedestrian median strips had been aggressive, threatening, or distracting to drivers. Nor were there records of any traffic accidents caused by solicitations made from pedestrian median strips.

In response to the complaints, the Town council enacted the following ordinance:

- (1) No person on a pedestrian median strip on Main Street shall communicate or attempt to communicate with the occupants of vehicles passing by or stopped near the pedestrian median strip.
- (2) A "pedestrian median strip" is the paved portion of the median strip, which is the portion intended for use by pedestrians to cross from one side of the street to the other.
- (3) A violation of this ordinance is a misdemeanor.

The preamble to the ordinance explains that the law was enacted to promote traffic safety by prohibiting those within pedestrian median strips from actively engaging with drivers in a distracting manner. Existing Town ordinances permit posting approved signs on trees and utility poles in median strips, including pedestrian median strips, as well as the posting and carrying of signs on sidewalks adjacent to public roadways. It is also lawful to solicit money from passing vehicles while standing on a sidewalk along Main Street.

Town has charged a man with violating the ordinance by holding a sign stating his opposition to a candidate for Town council while standing in a pedestrian median strip on Main Street in Town.

1. What type of First Amendment forum is the pedestrian median strip? Explain.
2. Is the Town ordinance a content-based or content-neutral regulation of speech? Explain.
3. Assuming that the Town ordinance is content-based, would applying it to the man violate his First Amendment rights? Explain.
4. Assuming that the Town ordinance is content-neutral, would applying it to the man violate his First Amendment rights? Explain.

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QUESTION 3 – TORTS

Brenda, a trauma surgeon, was on her way to perform emergency surgery at the hospital. As she drove through her neighborhood, a school bus stopped ahead of her, flashed its red lights, and extended its side-mounted stop sign. The law prohibits passing a stopped school bus under these circumstances. Brenda slowed, considering whether she should pass the bus because of the medical emergency.

Alan was driving a dump truck behind Brenda's car and also saw the bus's extended stop sign. Impatient, he swerved around Brenda's car and the bus. As he did so, his truck's bumper scraped a gash into Brenda's driver's-side doors.

Alan drove out of the neighborhood and onto the four-lane divided highway. Brenda did so also, intent on reaching the hospital quickly. She changed to the left lane and sped past Alan. This angered Alan. He saw Brenda's personalized license plate, "MED DOC." He muttered, "A self-important physician, probably headed to bandage a scraped knee." Alan accelerated and dangerously tailed Brenda's car as both vehicles traveled at 15 miles per hour (mph) above the speed limit. As Alan repeatedly honked his horn, Brenda feared that Alan's truck would hit her car.

Brenda signaled to change from the left lane to the right lane so that she could exit the highway, but Alan positioned his truck beside Brenda's car, matching her speed. Brenda slowed to allow Alan to pull ahead, but Alan slowed also, lowered his window, and yelled, "Oops! Don't miss the exit to the clinic!" Because Alan blocked Brenda from changing into the right lane, she missed the exit for the hospital.

Brenda accelerated more and pulled ahead of Alan into the right lane. She continued 10 miles further at nearly 90 mph, with Alan still close behind. She left the highway at the next available exit intending to double back toward the hospital, but she saw that Alan had followed her off the highway. Brenda pulled into a gas station lot, ran into the restroom, and locked the door. Alan pounded on the restroom door, shouting, "Come out so you and me can have a talk, if you know what I mean!" Brenda shouted back, "I'm not coming out until you leave." Alan yelled back, "I've got all day, so get comfortable." After two minutes, Alan got into his truck and left.

Brenda waited in fear inside the restroom for 20 minutes, after which she peeked out and saw that Alan was gone. She drove to the hospital, using only back roads to make sure that the truck was not following, adding more time to her drive. She finally arrived at the hospital one hour later than she would have arrived if Alan had not prevented her from exiting the highway. The patient had died moments before she arrived. If Brenda had

arrived 15 minutes sooner, she would have arrived in time to perform the surgery and the patient likely would have survived.

Brenda sued Alan, asserting two common-law claims. Alan has admitted to all the facts described above. In Brenda's lawsuit, she alleged that Alan "damaged her car as he violated the school-bus law" and that he then "detained her in a public restroom against her will." The patient's family sued Alan for "negligence causing wrongful death."

The jurisdiction expressly allows common-law negligence actions despite the death of the injured party. The jurisdiction's rules mirror the Federal Rules of Civil Procedure.

1. In a negligence action against Alan, can Brenda establish that Alan breached his duty of care based solely on his violation of the school-bus law? Explain.
2. Can Brenda establish Alan's liability based on Alan's allegedly detaining her against her will? Explain.
3. Is Alan's admission sufficient for the patient's family to prevail in a motion for partial summary judgment establishing that Alan is liable on the family's wrongful-death claim? Explain.

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QUESTION 4 – CIVIL PROCEDURE

Coach is a high school basketball coach who currently lives and works in State A, where she is domiciled. One year ago, Coach visited Hometown, in State H, for her high school reunion. During the reunion, she got into an argument with Fran over which of them was the better athlete in high school. Fran lives in State H, where she is domiciled.

A week after the reunion, when Coach had returned to State A, she learned that Fran was spreading rumors about her. In particular, Fran was telling people that Coach had used illegal drugs with students during her visit to State H.

A newspaper in State A learned of the allegations about Coach and published them, along with quotations from Fran, who had repeated her allegations to a news reporter who had visited Fran in State H. The newspaper story led to a public outcry against Coach, and she was fired. She was unable to find another job for many months.

Coach sued Fran in a state court in State A, alleging that Fran had defamed her under state law. Coach's complaint sought damages in the amount of \$74,999. In a sworn affidavit attached to the complaint, Coach asserted that she had lost \$130,000 in wages due to Fran's defamatory statements, but she stipulated that she would not seek or accept damages in excess of the amount sought in her complaint. That stipulation is binding under State A law.

A process server handed Fran a summons and a copy of the complaint when Fran was attending a basketball game in State A. That was the first time Fran had ever been in State A, and she was there for less than a day. She had no other connection with State A. Statutory law in State A authorizes its courts to exercise personal jurisdiction over persons who are served with process while physically present in the state, without regard to whether they have any other connection with the state.

Ten days later, before filing any answer or responsive motion, Fran filed a notice of removal and the case was removed from state court to the federal district court for the District of State A. The notice of removal asserted that the amount in controversy was \$130,000, the alleged amount of Coach's lost wages.

Coach has moved the federal district court to remand the case to the state court in State A, arguing that the federal court lacks subject-matter jurisdiction over the case.

Fran has moved the federal court to dismiss the case for lack of personal jurisdiction over her and for improper venue.

1. Should the federal court remand the case to the state court in State A on the ground that the federal court lacks subject-matter jurisdiction? Explain.
2. Assuming that the case is not remanded for lack of subject-matter jurisdiction, should the federal court dismiss the case for lack of personal jurisdiction over Fran? Explain.
3. Assuming that the case is not remanded and is not dismissed for lack of personal jurisdiction, should the federal court dismiss the case for improper venue? Explain.

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QUESTION 5 – EVIDENCE

Based on the following facts, David has been charged with knowingly obtaining money under the control of a financial institution (Bank) by means of false or fraudulent representations.

David entered Bank on April 18, 2024. After stopping at the counter where pens and banking slips were located, David presented to the teller a check that appeared to be drawn by Customer on her account at Bank and payable to the order of "David" in the amount of \$1,000. Before cashing the check, the teller asked David to produce photo identification (ID), which David did. The teller examined the ID, confirming that it was David's and bore his picture. The teller then returned the ID and gave \$1,000 to David, who left Bank.

Customer received a notification on her banking app, alerting her that a \$1,000 check had just been charged to her account. Customer promptly called Bank to complain. She was transferred to a fraud investigator and immediately exclaimed, "I didn't write that \$1,000 check that you just charged to my account!" Customer was noticeably frustrated and angry.

The investigator began an investigation. First, he compared the signature on the check with Customer's signature in Bank's records and concluded that Customer's signature had been forged on the check. He then reviewed the original video recording of the lobby, counters, and tellers, taken by Bank's security cameras on April 18, 2024. Based on that review, the investigator determined that an individual, later identified as David, had presented a \$1,000 check purportedly drawn on Customer's account and that the teller had cashed it. The investigator wrote a report detailing Customer's complaint, describing the video recording, and attaching copies of the check at issue and a copy of Customer's signature from Bank's records.

In a statement to law enforcement, David denied visiting Bank that day. He has pleaded not guilty. The case is now scheduled for trial in federal court. Neither Customer nor the teller is available to testify. However, Bank's investigator, who is a 10-year employee of Bank and works in an office next to Bank's lobby, is available and will testify.

Evaluate the admissibility of the following evidence if it is offered during the testimony of Bank's investigator in the government's case-in-chief. (Do not discuss constitutional issues.)

1. Bank's original video recording of its lobby, counters, and tellers from April 18, 2024, which shows David stopping at the counter in the lobby and interacting with the teller. Explain.
2. The investigator's testimony as to Customer's oral complaint to the investigator. Explain.
3. The investigator's written report, if the investigator testifies that he is unable to recall both the details of the investigation and writing the report. (Assume that the report is relevant and not admissible as a business record.) Explain.

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QUESTION 6 – TRUSTS AND DECEDENTS' ESTATES

Six years ago, Alice properly created a trust naming a local bank as the sole trustee and naming herself as the sole beneficiary of the trust income. The trust provided that upon Alice's death, the trust principal would be distributed to her niece, Shirley. Alice and Shirley had a very close relationship, although they lived far apart. The trust also directed the trustee to invest trust assets only in "prudent investments." The trust was silent as to whether it was revocable or irrevocable.

When Alice created the trust, she also properly executed a durable health-care power of attorney naming John, her friend and next-door neighbor, as her agent to make health-care decisions for her. This power was expressly conditioned upon Alice's being unable to make health-care decisions for herself.

Four weeks ago, before she left for a vacation in Europe, Alice had separate telephone conversations first with Shirley and then with John. In both conversations, Alice mused about her wishes if "something should ever happen to me." Alice said to Shirley, "If something should happen to me, I don't want to be connected to a life-support system." In her later conversation with John, Alice told him, "In no event do I ever want to be connected to a life-support system if there is little or no hope of my recovery."

Three weeks ago, Shirley found out that the trustee had imprudently invested 30% of the trust's assets in the stock of a company that later went bankrupt, resulting in a significant loss to the trust. Furious, Shirley immediately contacted the bank officer overseeing the trust. After hearing Shirley's complaints, the trust officer responded truthfully that Alice had approved the investment knowing that it was imprudent. He also accurately told Shirley that Alice was fully competent when she approved the investment. The trust officer then told Shirley, "I guess you win some and you lose some."

The next day, Shirley called Alice, who was still vacationing in Europe, to express her anger about the investment. Alice responded, "We can talk about this when I get home in two weeks."

The day after Alice returned home, she had a stroke and was rushed to the hospital. Three hours later, Alice was connected to a life-support system. Her doctor determined that the stroke had left her unable to make her own health-care decisions. The doctor contacted John and Shirley and told them, "It is unclear whether she will survive or, if she survives, what kind of life she will have. We should know much more in a week or so." Shirley believed that the life-support system should be removed immediately and told the doctor to do so at once. John disagreed and told the doctor to keep Alice on the life-support system.

Ten years ago, the jurisdiction adopted the Uniform Trust Code and a health-care power of attorney act.

1. Is the trust revocable or irrevocable? Explain.
2. (a) Does Shirley have an interest in the trust? Explain.

 (b) Assuming that Shirley has an interest in the trust, how is this interest characterized? Explain.
3. Assuming that Shirley has an interest in the trust, does she have a claim against the bank for making the imprudent investment? Explain.
4. Between Shirley and John, who has the legal authority to direct the doctor whether to remove Alice from the life-support system? Explain.

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FEBRUARY 2025 MEE
ANALYSIS 1 – AGENCY AND PARTNERSHIP

AGC (I.; II.; VI.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Was Kim an agent of Comet Fitness when she purchased the treadmill?
- (2) Assuming that Kim was an agent of Comet Fitness,
 - (a) did she have actual authority to purchase the treadmill for Comet Fitness?
 - (b) did she have apparent authority to purchase the treadmill for Comet Fitness?
- (3) Did Nancy have the authority to bind Comet Fitness to the contract to purchase the two treadmills with the built-in video touchscreens?

DISCUSSION

Summary

Kim was not an agent of Comet Fitness because neither Bill nor Nancy manifested an intent to create an agency relationship with Kim. Moreover, Kim did not assent to serving as Comet Fitness's agent, as she said that she wanted to think about whether she would become a personal trainer at the gym.

Even if Kim were an agent (i.e., a personal trainer working for Comet Fitness), she lacked both actual and apparent authority to purchase a treadmill on Comet Fitness's behalf. With respect to actual authority, neither Bill nor Nancy manifested to Kim that she had any authority to act on behalf of Comet Fitness and such authority was not implied from a position as a fitness trainer. With respect to apparent authority, neither Bill nor Nancy

ever manifested to the owner of the sporting-goods store that Kim was acting on behalf of Comet Fitness.

Nancy, however, as a general partner of Comet Fitness, had authority to bind Comet Fitness to the contract to purchase the two treadmills. This is because the purchase was apparently for carrying out the usual business of the partnership—operating a gym.

Point One (30%)

Kim was not an agent of Comet Fitness because neither Bill nor Nancy manifested an intent for Kim to act as an agent for Comet Fitness, and Kim did not manifest assent to so serve.

"Agency is the fiduciary relationship that arises when one person (a 'principal') manifests assent to another person (an 'agent') that the agent shall act on the principal's behalf and subject to the principal's control, and the agent manifests assent or otherwise consents so to act." Restatement (Third) of Agency § 1.01. Assent is manifested through "written or spoken words or other conduct." *Id.* § 1.03. Here, there is no writing to establish the creation of an agency relationship between Comet Fitness and Kim. Thus, agency could arise only by spoken words or conduct.

The only manifestation that could arguably have created an agency relationship was Nancy's statement to Kim that she should consider working for Comet Fitness as a personal trainer. But Kim replied only that she would think about it. That was not adequate to amount to a manifested assent by Kim to work as a personal trainer for Comet Fitness.

While Kim was present when Bill told Nancy, "You know, the gym has only five treadmills, but I sure wish it had two more," and Nancy expressly agreed with Bill, Kim could not reasonably believe that she was empowered to act on behalf of Comet Fitness to buy a treadmill. These statements did not manifest assent by Kim to act on behalf of Comet Fitness or by Bill or Nancy to have her do so.

In other words, neither element necessary for the creation of an agency relationship is present. No manifestation by spoken words was made by a prospective principal to a prospective agent, and no one made any statement indicating that a prospective agent agreed to act as an agent. Nor does there appear to have been any other conduct that would be construed as sufficient to create an agency relationship.

[NOTE: Sections 1 and 15 of Restatement (Second) of Agency are consistent with the foregoing analysis. This point focuses on whether an agency relationship was created, not whether there was actual or apparent authority.]

Point Two(a) (10%)

Kim lacked actual authority to purchase a treadmill for Comet Fitness.

Assuming that Kim was an agent of Comet Fitness, this does not mean that she had authority (actual or apparent) to purchase the treadmill for Comet Fitness from the sporting-goods store. "An agent acts with actual authority when, at the time of taking action that has legal consequences for the principal, the agent reasonably believes, in accordance with the principal's manifestations to the agent, that the principal wishes the agent so to act." Restatement (Third) of Agency § 2.01. Section 3.01 of the Third Restatement expands on this rule by providing that "[a]ctual authority, as defined in § 2.01, is created by a principal's manifestations to an agent that, as reasonably understood by the agent, expresses the principal's assent that the agent take action on the principal's behalf." Section 2.02(1) further provides that "an agent has actual authority to take action designated or implied in the principal's manifestation to the agent and acts necessary or incidental to achieving the principal's objectives"

On these facts, it is clear that there was no manifestation from the partnership to Kim that would lead Kim to reasonably believe that it wished her to act on its behalf to purchase a treadmill. Even if we assume Kim was a personal trainer (since the question asks us to assume Kim was an agent, and the role that was contemplated was her being a personal trainer), she was not expressly authorized to buy a treadmill. Moreover, it was not implied from her title of or her being, a personal trainer that Nancy (or Bill) manifested an intent to grant Kim actual authority to purchase the treadmill.

At most, Kim overheard a conversation between Bill and Nancy expressing Bill's wish that the gym had two more treadmills. But no one mentioned that anyone, including Nancy, would purchase treadmills. Thus, Kim had no actual authority to purchase the treadmill from the sporting-goods store for Comet Fitness.

Point Two(b) (25%)

Kim lacked apparent authority to purchase a treadmill for Comet Fitness.

Assuming that Kim was an agent of Comet Fitness, she did not have any apparent authority to purchase the treadmill. "Apparent authority...is created by a person's manifestation that another has authority to act with legal consequences for the person who makes the manifestation, when a third party reasonably believes the actor to be authorized and the belief is traceable to the manifestation." Restatement (Third) of Agency § 3.03. There was no communication to the owner of the sporting-goods store from anyone on behalf of Comet Fitness except Bill's statement to the owner: "I hope you've got some nice treadmills; the gym could use one or more. I'll try to get over there

to check them out." Although this statement suggested that Bill wanted more treadmills for the gym, it was not a sufficient basis for the store owner to reasonably believe that the gym intended to purchase treadmills or do anything more than investigate the store's inventory. Furthermore, the statement in no way communicated that Kim could make such a purchase on behalf of Comet Fitness. Thus, there is no basis to conclude that Kim had apparent authority to purchase a treadmill from the sporting-goods store on Comet Fitness's behalf, even assuming that Kim was an agent of Comet Fitness.

[NOTE: Restatement (Second) of Agency §§ 26 & 27 are consistent with the foregoing analysis. While an agent can create the appearance of that agent's own authority through manifestations of the agent that were authorized by the principal, here, there were no such authorized manifestations.]

Point Three (35%)

Comet Fitness is bound on the contract to purchase the two treadmills with the built-in video touchscreens because Nancy, as a general partner, was empowered to purchase them for the partnership.

Unlike Kim, Nancy is a general partner of Comet Fitness. Because she is a general partner, she is also an agent of the partnership. Revised Unif. Partnership Act § 301(1) (1997, as amended 2013). A partner's act in "apparently carrying on in the ordinary course the partnership business" binds the partnership "unless the partner did not have authority to act for the partnership in the particular matter and the person with which the partner was dealing knew or had notice that the partner lacked authority." *Id. Accord*, Unif. Partnership Act § 9 (1914).

Here Nancy had actual authority to purchase the treadmills from the sporting-goods store for the benefit of Comet Fitness. First, Comet Fitness was a gym that used treadmills. Second, as evident from the conversation between Bill and Nancy, Comet Fitness needed additional treadmills. Third, the two treadmills were similar to the treadmills that Nancy had previously purchased for the gym. So Nancy's purchase of two treadmills was for "apparently carrying out the business of the partnership" in the ordinary course.

[NOTE: No credit should be given for a discussion of why Nancy is a general partner, as the facts expressly state that she is one.]

FEBRUARY 2025 MEE
ANALYSIS 2 – CONSTITUTIONAL LAW

CNL (IV.A., F.2)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) What type of First Amendment public forum is a pedestrian median strip?
- (2) Is the Town ordinance a content-based or content-neutral regulation of speech?
- (3) Assuming that the Town ordinance is content-based, would applying it to the man violate his First Amendment rights?
- (4) Assuming that the Town ordinance is content-neutral, would applying it to the man violate his First Amendment rights?

DISCUSSION

Summary

First, since the challenged ordinance is being applied to speech on government property, the threshold issue is to determine what type of public forum is involved. Here, a pedestrian median strip would be considered a traditional public forum because it is part of the public streets and sidewalks that have traditionally been open to expression.

Second, the applicable constitutional test for regulations of speech in a traditional public forum depends on whether the regulation is content-based or content-neutral. A content-based regulation receives strict scrutiny, while a content-neutral regulation receives intermediate scrutiny under the time, place, and manner test. There is a credible argument for each characterization of the ordinance. On the one hand, the ordinance could be deemed content-neutral because the face of the ordinance does not address the content of any speech that might occur on a median strip. On the other hand, the

ordinance could be treated as content-based because the Town council arguably enacted it because of its disagreement with unpopular speech—unwanted solicitation of motorists.

Third, if content-based, the ordinance would likely be unconstitutional under strict scrutiny. While Town may have a compelling interest in promoting traffic safety, the ordinance is not likely to be narrowly tailored to this purpose because it is both under- and over-inclusive. It is under-inclusive because it allows people standing on a sidewalk to interact with motorists, and it is over-inclusive because it applies to speech that does not threaten the government's interest (e.g., a person passively holding a sign in a pedestrian median strip).

Fourth, a content-neutral regulation is reviewed under the intermediate scrutiny test: the regulation "must be narrowly tailored to serve the government's legitimate, content-neutral interests but . . . need not be the least restrictive or least intrusive means of doing so." *Ward v. Rock Against Racism*, 491 U.S. 781, 798–99 (1989). The regulation must also leave open ample alternative channels of communication. Here, the Town's traffic and public safety concerns are substantial, content-neutral government interests. The ordinance, however, may not be narrowly tailored because it arguably restricts a substantial amount of speech that does not threaten the government's stated interests (e.g., a person holding a sign in a pedestrian median strip), and the government does not have evidence that the ordinance would be less effective if it were more narrowly tailored.

Point One (20%)

The paved portions of Town's median strips are traditional public forums because they are part of the public streets and sidewalks that have historically been open to free expression.

The speech burdened by the Town ordinance occurs on government property, and so the appropriate constitutional test is determined by the type of government property involved. For purposes of First Amendment free speech analysis, the Supreme Court has recognized three types of government property, or "public forums." First, a traditional public forum is "government property that has traditionally been available for public expression." *International Soc. for Krishna Consciousness, Inc. v. Lee*, 505 U.S. 672, 678 (1992). This category includes public parks, sidewalks, and streets that have historically been open to public speech and debate. See *id.* Second, all other government property is classified as a non-public forum. See *id.* at 679. And third, the government may choose to open a non-public forum to speech activities, and in doing so the government creates a designated or limited public forum. *Id.* at 678.

Here, the pedestrian median strips are part of the public roadways and sidewalks that have historically been open to public expression. As defined by the ordinance, a pedestrian median strip is part of the pedestrian crosswalks regularly used by the public,

and the presence of people within that space is expected and lawful, just as with other pedestrian spaces like sidewalks. Consequently, the ordinance regulates a traditional public forum.

Point Two (20%)

The ordinance can be credibly characterized as either content-neutral or content-based. On the one hand, it could be characterized as content-neutral because its application does not depend on the content or viewpoint of any expression occurring in a median strip. On the other hand, it could be characterized as content-based because the ordinance was arguably enacted because of disagreement with unpopular expression (i.e., solicitation that had occurred in pedestrian median strips).

Whether application of a municipal ordinance to expression violates the First Amendment's guarantee of free speech depends heavily on whether the ordinance is content-based or content-neutral. If the ordinance is content-based, a court will apply strict scrutiny, and application of the ordinance will likely be overturned. If the ordinance is content-neutral, a court will apply a form of intermediate scrutiny known as the time, place, and manner test that affords greater deference to the government.

A law is content-based if it "applies to particular speech because of the topic discussed or the idea or message expressed." *Reed v. Town of Gilbert*, 576 U.S. 155, 163 (2015). The Supreme Court has explained that a law may do so in two ways: (1) the face of the law regulates speech based on the subject matter, topic, or idea discussed or (2) "there is evidence that an impermissible purpose or justification underpins a facially content-neutral restriction." *City of Austin v. Reagan Nat'l Advertising*, 596 U.S. 61, 76 (2022). Here, the face of the ordinance does not mention speech of any kind, and so the ordinance would not be content-based under category (1).

The only argument that the ordinance is content-based would be under category (2), which applies to laws enacted "because of disagreement with the message" of certain speakers. See *Reed*, 576 U.S. at 163–64. Here, Town had received complaints that past solicitations made from the pedestrian median strips were "annoying and unwelcome." On the one hand, this could be interpreted as meaning that the message of the speech was unpopular or disfavored, which would be a content-based reaction to speech that had occurred in the median strips. On the other hand, Town's concern could be with the potential for distraction of motorists regardless of whether they agree with the message of the speaker, which would be content-neutral. Whether the ordinance is content-based under this category depends on which argument a court accepts for the ordinance's motivation. Because the ordinance can be credibly argued to be either content-based or

content-neutral, an examinee should next discuss application of both the strict scrutiny test and the intermediate scrutiny time, place, and manner test.

Point Three (30%)

If the ordinance is deemed content-based, application of the ordinance to the man's conduct would likely fail strict scrutiny because the ordinance is not the least speech-restrictive means for promoting the government's interest in traffic safety.

If the ordinance is deemed content-based, it will likely fail strict scrutiny. Under strict scrutiny, Town bears the burden to show that the ordinance is narrowly tailored to further a compelling government interest. In this context, though, narrow tailoring requires that the challenged law be the least speech-restrictive alternative for achieving the government's purpose. See *Ward*, 491 U.S. at 799 n.6; *Boos v. Barry*, 485 U.S. 312, 329 (1988). This version of narrow tailoring tolerates very little under- or over-inclusiveness.

As discussed below under Point Four, the ordinance was enacted to promote traffic safety. Although the Supreme Court has held that traffic safety is a substantial government interest under the time, place, and manner test, see *McCullen v. Coakley*, 573 U.S. 464 (2014) (accepting public safety as a substantial government interest in reviewing state law that restricted speech on public streets and sidewalks in front of abortion clinics), the Court has not yet embraced traffic safety as a compelling governmental interest but has only assumed it to be so. *Reed*, 576 U.S. at 171.

Ultimately, though, a court would decide this issue based on the narrow tailoring analysis. As discussed in Point Four, the ordinance is both under-inclusive and over-inclusive, and this lack of fit is likely fatal, unless Town can prove that the under- or over-inclusiveness is necessary. For example, Town would need evidence that the safety risk posed by people communicating with drivers from a sidewalk is significantly less than the risk posed by a person doing so from a pedestrian median strip. Similarly, Town would need to show that signs posted along a roadway pose a significantly lower traffic risk than signs held by persons in a pedestrian median strip. Since the question notes that Town had no evidence of the traffic safety threat posed by solicitation of money from pedestrian median strips, the ordinance is unlikely to survive strict scrutiny.

Point Four (30%)

There is a credible argument that application of the ordinance to the man is unconstitutional under the time, place, and manner test because the ordinance could be found to ban a substantial amount of speech that does not threaten the government's interest, and Town does not have evidence that the ordinance would be less effective if more narrowly tailored. If the ordinance is narrowly tailored, it is likely constitutional

because it leaves open ample alternative channels of communication for speakers to communicate their message by posting signs in pedestrian median strips or holding signs while standing on the sidewalks.

Under intermediate scrutiny, which is also referred to as the time, place, and manner test, a regulation of speech is constitutional if it promotes a substantial government interest, is narrowly tailored to achieve that interest, and leaves open ample alternative channels of communication. In this case, the first requirement is easily met. The Supreme Court has held that traffic safety is a substantial government interest under the time, place, and manner test. *McCullen*, 573 U.S. 464.

The narrow tailoring element requires additional discussion. Under the time, place, and manner test, the Court has defined "narrow tailoring" with reference to two factors: (1) whether the challenged law "burden[s] substantially more speech than is necessary to further the government's legitimate interests" and (2) whether the "substantial government interest . . . would be achieved less effectively absent the regulation." *Ward*, 491 U.S. at 799.

The Court's opinion in *McCullen* indicates how these two factors apply to a free speech challenge. The Court first asks if there is evidence that the challenged law burdens substantially more speech than is necessary to achieve the government interest. *McCullen*, 573 U.S. at 490. If that is the case, then the government must put on evidence that the challenged law would be less effective if it restricted less speech. *Id.* at 495 ("To meet the requirement of narrow tailoring, the government must demonstrate that alternative measures that burden substantially less speech would fail to achieve the government's interests, not simply that the chosen route is easier."). If, however, the challenged law does not burden substantially more speech than necessary, the Court will defer to the government's judgment that the law would be less effective if more narrowly tailored. See *Ward*, 491 U.S. at 800.

Here, there is evidence that the ordinance burdens substantially more speech than necessary to achieve the government's purposes. The Town council's interest focuses on concerns posed by a distinctively interactive form of speech—solicitation of money from a person who is operating a motor vehicle on a public roadway. More passive forms of speech, such as merely holding a sign in view of passersby as the man did, arguably do not pose the same threat. By banning any communication from a pedestrian median strip, however, the ordinance bans anyone present from speaking regardless of whether they request or propose interaction with a motorist. Consequently, there is a credible argument that the ordinance bans substantially more speech than necessary to achieve the government's interest.

Town, then, may be required to show evidence that the ordinance would be less effective if it were narrowed to solicitations or other similar activities in the median. One way Town may do so is to offer evidence that it had previously tried legal approaches that restricted less speech, and that those approaches did not effectively address the traffic safety concerns. *McCullen*, 573 U.S. at 495. Here, there is no indication that Town first tried a narrower ordinance that was unsuccessful. Indeed, the facts state that Town did not have any evidence indicating whether or how this ordinance would affect traffic safety. And so, if the court concludes that the ordinance burdens substantially more speech than necessary, Town will not be able to carry its burden.

If the court concludes that the ordinance does not burden substantially more speech than necessary, it will defer to Town's judgment on the empirical question whether the ordinance would be less effective if more narrowly tailored. For example, Town could have concluded that a ban on solicitation of motorists would be difficult to enforce because law enforcement would need to make judgments about what a person was communicating from a pedestrian median strip. If Town receives judicial deference on this issue, it will not need evidence of this judgment to survive the narrow tailoring prong.

Last, the ordinance likely allows ample alternative means for communicating a speaker's message. Here, speakers may still communicate the same message by standing on sidewalks and other property adjacent to public roadways. The ordinance merely prohibits speech while in a pedestrian median strip. See *Ward*, 491 U.S. at 802 (noting that the challenged regulation "has no effect on the quantity or content of that expression"). Consequently, the ordinance likely leaves open ample alternative channels of speech.

**FEBRUARY 2025 MEE
ANALYSIS 3 – TORTS**

TORTS (I.A.; II.A., E.1)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Is the collision between Alan's truck and Brenda's car the type of harm that the legislature likely sought to prevent, and is Brenda within the class of persons that the legislature likely sought to protect, when it enacted the school-bus stop-sign law?
- (2) Can Brenda recover for the tort of false imprisonment based on facts that establish that Alan engaged in conduct from which a fact-finder would likely infer that he intended to confine her?
- (3) Can the factual issue of foreseeability as it bears on the proximate cause of the patient's death be resolved in a summary-judgment proceeding?

DISCUSSION

Summary

Brenda will not succeed on a theory of negligence per se to establish that Alan breached the duty of care to prove liability for damaging her car because the damage is not likely the type of harm the legislature sought to prevent, and Brenda is not likely within the class of persons the legislature sought to protect, when it enacted the law prohibiting cars from passing school buses stopped to pick up and drop off passengers.

Brenda can establish Alan's civil liability based on his detaining her against her will, as the circumstances should allow Brenda to prove that Alan committed the common-law tort of false imprisonment by using words and engaging in conduct intended to cause Brenda to become and remain confined within fixed boundaries. Brenda confined herself to the restroom out of her reasonable fear that the confinement was necessary to avoid a battery. Although Alan never expressly stated that he intended Brenda to become or to

remain confined inside the restroom, a fact-finder would almost certainly infer this intent from Alan's conduct and words. His dangerous and aggressive driving would cause any reasonable person in Brenda's shoes to believe that her self-confinement was necessary to prevent Alan from immediately physically harming her, and his threat to wait for her outside "all day" when he knew that she would not exit while he waited outside compels the finding that he intended that she continue her self-confinement.

The patient's family should not prevail in a motion for partial summary judgment seeking to establish Alan's liability on the wrongful-death claim because, although Alan has admitted that the patient would have survived had Alan not obstructed Brenda's attempt to reach the hospital, whether the patient's death was proximately caused by Alan's conduct will be a disputed issue of material fact, precluding a pretrial judgment as a matter of law.

Point One (33% total weight)

Brenda will not succeed on a theory of negligence per se to establish that Alan breached the duty of care to prove liability for damaging her car because the damage is not likely the type of harm the legislature sought to prevent and Brenda is not within the class of person the legislature sought to protect when it enacted the law prohibiting cars from passing stopped school buses.

A negligence plaintiff can successfully rely on the theory of negligence per se only when the tortfeasor engaged in an unexcused violation of a statute, the legislature designed the statute to protect against the kind of injury that occurred, and the injured person is within the class of persons the legislature sought to protect. See Restatement (Third) of Torts: Liability for Physical and Emotional Harm § 14. Although the facts here do not state the legislative purpose behind the school-bus required-stop law, a court would reasonably infer the kind of harm the statute seeks to avoid and the class of persons it seeks to protect. It is self-evident that the kind of harm the statute is primarily designed to prevent is vehicle-pedestrian collisions. It is therefore similarly clear that the class of persons the statute is primarily designed to protect includes children who have exited school buses and children who are preparing to board school buses. The collision here between two vehicles passing a stopped school bus is not the kind of harm the statute seeks to prevent, and Brenda is not in the class of persons the statute seeks to protect. Brenda therefore cannot rely on a theory of negligence per se to establish Alan's liability for the damage to her car.

Point Two (30%)

Brenda can establish Alan's civil liability based on Alan's detaining her against her will, as the circumstances should allow her to prove that Alan committed the common-law tort of false imprisonment by using words and engaging in conduct intended to cause Brenda to become and remain confined within fixed boundaries.

Brenda can establish that Alan is civilly liable for common-law false imprisonment because the facts all but compel a finding that all three elements of the tort are met. The three elements of false imprisonment are an action "intending to confine [another] . . . within boundaries fixed" by the tortfeasor; circumstances under which the action results in the confinement; and consciousness of the confinement by the person allegedly confined. Restatement (Second) of Torts § 35. The intent element is critical because "the actor is not liable unless his act is done for the purpose of imposing confinement on the other" *Id.* comment h.

Here the circumstances establish that Alan engaged in multiple actions intended to cause Brenda's confinement in the fixed boundaries of the restroom. Confinement for the purposes of establishing liability for false imprisonment can result from threats or other forms of duress "where such duress is sufficient to make the consent given ineffective to bar the action." *Id.* § 40A. And liability can arise when the alleged tortfeasor acts "with knowledge that . . . confinement will, to a substantial certainty, result from" his actions. *Id.* § 35 comment h. Brenda entered the restroom of her own volition and locked herself inside only after Alan engaged in dangerous driving and an aggressive pursuit that essentially forced Brenda to lock herself inside based on her reasonable fear that self-confinement was necessary to avoid becoming the victim of an imminent physical battery. Although Alan did not order Brenda to enter the restroom or to remain there, his comment that he would be waiting for her outside "all day," under circumstances in which he knew that she would not exit while he waited there, would lead a fact-finder to conclude that he intended that Brenda would feel threatened and continue her self-confinement indefinitely.

The final two false-imprisonment elements are clearly established under these facts. Alan's threatening behavior in fact resulted in Brenda's confinement, and her statement that she would remain inside to avoid contact with Alan demonstrated that she was conscious of her confinement.

[NOTE: An answer that applies the tort of "intentional infliction of emotional distress" to Alan's behavior may deserve some credit. That tort, however, requires "severe" emotional distress.]

Point Three (40%)

The patient's family should not prevail in a motion for partial summary judgment seeking to establish Alan's liability on the family's wrongful-death claim because, although Alan has admitted that the patient would have survived had Alan not obstructed Brenda's attempt to leave the highway, under the circumstances presented, whether the patient's death was proximately caused by Alan's conduct will be a disputed issue of material fact precluding judgment as a matter of law.

The specific question presented here is not whether the family or Alan would prevail at trial on the family's wrongful-death claim, but whether the family can establish Alan's liability on that claim through partial summary judgment. The court may properly enter summary judgment only "if the movant shows that there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law." Fed. R. Civ. P. 56(a). Rule 56 places the burden first on the moving party to clearly establish the lack of a genuine issue of material fact and entitlement to judgment as a matter of law. *Id.*; see also *Celotex Corp. v. Catrett*, 477 U.S. 317, 322–23 (1986). "[S]ummary judgment will not lie . . . if the evidence is such that a reasonable jury could return a verdict for the nonmoving party." *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986). The court will base its decision on the undisputed evidence and will draw any reasonable inferences in the light most favorable to the nonmoving party. *Id.*, at 255. For the following reasons, the family cannot meet its initial summary-judgment burden.

Alan admits to the conduct described, which establishes that his dangerous driving was a cause in fact of the patient's death because the patient likely would have lived if Brenda had operated on him, and Brenda would have arrived in time to perform the surgery but for Alan's driving conduct that prevented her from exiting the highway to reach the hospital. But to prevail on its wrongful-death claim, the family will have to prove more. The traditional elements of a negligence action are the existence of a legal duty, breach of that duty, proximate cause, and injury resulting in damages. *TG&Y Stores v. Atchley*, 414 So. 2d 912, 914 (Ala. 1982); *Sanford v. Manternach*, 601 N.W.2d 360, 370 (Iowa 1999); *McMurray v. Sur. Fed. Sav. & Loan Ass'n*, 348 S.E.2d 162, 164 (N.C. Ct. App. 1986); *Hansen v. Washington Nat. Gas Co.*, 632 P.2d 504, 505 (Wash. 1981); *Schmanski v. Church of St. Casimir of Wells*, 67 N.W.2d 644, 646 (Minn. 1954). The issue of foreseeability bears on the elements of legal duty and proximate cause in this case. Although "[f]oreseeability, in the context of a legal duty, is a question of law" for the court to decide, *Fu v. State*, 643 N.W.2d 659, 661 (Neb. 2002), in the context of proximate cause, foreseeability is generally a question of fact for the jury. *Id.*; see also *Florida Power & Light Co. v. Periera*, 705 So. 2d 1359, 1361 (Fla. 1998); *P.W. v. Children's Hosp. Colorado*, 364 P.3d 891, 898 (Colo. 2016). And "foreseeability is the touchstone of proximate cause." *P.W.*, 364 at 898, n. 7.

Here, Alan should succeed in avoiding partial summary judgment establishing his liability by emphasizing the factual issue of proximate cause and foreseeability.

Regardless of how the court decides the foreseeability question as it bears on the legal issue of whether Alan owed the patient a duty, the circumstances leave open the possibility that a fact-finder might conclude that the patient's death was not a reasonably foreseeable consequence of Alan's obstructive driving as it bears on the factual issue of proximate cause. The family would certainly argue to the court that the facts could support the conclusion that the patient's death was a foreseeable result of Alan's dangerous driving: because Alan believed that Brenda was a physician, and possibly on her way to provide some sort of medical care ("to bandage a scraped knee"), he knew or should have known that she could have been rushing toward the highway exit to attend to a medical emergency that required her urgent attention, and that negligently obstructing her from reaching her destination could prevent her from timely providing life-saving medical care. But this argument should fail to establish liability at the summary-judgment stage in the face of Alan's likely argument that, even after Alan prevented Brenda's exit, she continued her self-confinement for an unforeseeably lengthy period after he left the gas station, and it was not reasonably foreseeable that she would take time-consuming back roads to reach the hospital.

In any event, he will contend persuasively that deciding the issue of proximate cause in favor of his liability would require the court to inappropriately weigh multiple factual inferences favorable to the family, the party moving for summary judgment. Because the court must instead analyze summary judgment by drawing all reasonable inferences against the moving party rather than in its favor, the court here should leave the question of foreseeability and proximate cause for the jury after a trial. The court would therefore likely deny the family's motion for partial summary judgment.

FEBRUARY 2025 MEE
ANALYSIS 4 – CIVIL PROCEDURE

CIV (I.A., B. & D.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Can an action be removed to federal court where the state-court plaintiff is seeking damages less than the federal jurisdictional amount but the plaintiff's legal claim, if valid, would entitle the plaintiff to receive damages above the jurisdictional amount?
- (2) Can a federal court sitting in a state exercise jurisdiction over a defendant who has no connection to the state other than the fact that the defendant was served with process while temporarily present in the state?
- (3) Is venue in a removed action proper in the federal district court for the state in which the action was initially filed even if that federal court would not have had jurisdiction over the action if it had been initially filed in federal court?

DISCUSSION

Summary

A state case can be removed to federal court only if the federal court would have original jurisdiction over the case. Here, there is no federal question, so removal is possible only if the federal court would have diversity jurisdiction. Although Coach and Fran are diverse (citizens of different states), the federal \$75,000 amount-in-controversy requirement is not met. Coach's complaint limits the damages sought to \$74,999, and this limitation is binding under state law. As a result, the amount in controversy falls below the jurisdictional minimum, and the federal court should remand the case to state court.

Assuming that the federal court has subject-matter jurisdiction, it may properly exercise personal jurisdiction over Fran. The federal court sitting in State A is entitled to assert

personal jurisdiction on the same bases as a State A state court of general jurisdiction. State A statutes allow the state courts to exercise personal jurisdiction over a person served with process while physically present in the state, and the Supreme Court of the United States has said that such jurisdiction is consistent with due process. Because Fran was served with process while visiting State A, the federal court in State A should not dismiss the case for lack of personal jurisdiction.

Assuming that the federal court has subject-matter and personal jurisdiction, it should deny Fran's motion to dismiss for improper venue. Because Fran removed the case to the federal district where the State A court is located, venue is proper under the federal removal statute.

Point One (60% total weight)

The case should be remanded to state court because the federal court lacks subject-matter jurisdiction over the case.

(a) Removal is proper only if the federal district court has original jurisdiction over the action. (10%)

A case that is filed in a state court may be removed to federal district court if "the district courts of the United States have original jurisdiction" over the action. 28 U.S.C. § 1441(a). Removal is to the "district court of the United States for the district and division embracing the place where such action is pending." *Id.*

Federal district courts have original jurisdiction over civil actions in two circumstances. First, they have original "federal question" jurisdiction over civil actions that assert a claim arising under federal law. See 28 U.S.C. § 1331. Second, they have original "diversity" jurisdiction over civil actions in which there is complete diversity between the plaintiffs and defendants in the action and the amount in controversy exceeds \$75,000, exclusive of interest and costs. See 28 U.S.C. § 1332. Thus, for a case to be properly removed, the federal court must have either federal-question or diversity jurisdiction over the case.

(b) The federal district court does not have federal-question jurisdiction over the action because the complaint is based entirely on state law. (10%)

Here, there is no federal question in the case. The plaintiff's complaint presents a defamation claim based on State A and State H law. No federal question is raised by the complaint.

[NOTE: The fact that this is a defamation case, and that the defendant might therefore have a First Amendment free-speech defense of some sort, is irrelevant. Federal-

question jurisdiction exists only if the federal question appears on the face of the well-pleaded complaint. *Louisville & Nashville R. Co. v. Mottley*, 211 U.S. 149 (1908).]

(c) Although the parties are diverse, the federal district court does not have diversity jurisdiction because Coach limited her claim for damages to an amount lower than the federal jurisdictional amount for diversity cases. (40%)

Here, the plaintiff and the defendant are citizens of different states. Coach is a citizen of State A, where she is domiciled. Fran is a longtime domiciliary of State H, of which she is a citizen. So the diversity requirement is met. See *Chicago & N.W. Ry. v. Ohle*, 117 U.S. 123 (1886) (an individual is a citizen of the state in which the individual is domiciled).

However, Coach's complaint seeks damages of only \$74,999, just below the jurisdictional amount. Coach has attached an affidavit to her complaint specifying that she will not seek damages in any greater amount, although she asserts that the law would entitle her to a greater amount of damages. State A allows her to make such a stipulation. The question is whether Coach can avoid removal to federal court by agreeing to limit her damages recovery even though she would be legally entitled to greater damages in the absence of such a stipulation.

In *St. Paul Mercury Indemnity Co. v. Red Cab Co.*, 303 U.S. 283 (1938), the Supreme Court expressly acknowledged the right of a plaintiff to prevent removal by suing for less than the jurisdictional amount. The Court said,

[I]f [the plaintiff] does not desire to try his case in the federal court he may resort to the expedient of suing for less than the jurisdictional amount, and though he would be justly entitled to more, the defendant cannot remove.

303 U.S. at 294. Consistent with this dicta, the federal statute on removal procedure provides that "the sum demanded in good faith in the initial pleading shall be deemed to be the amount in controversy." 28 U.S.C. § 1446(c)(2). The defendant is allowed to prove a higher amount in controversy only if the "initial pleading seeks nonmonetary relief" or "State practice either does not permit demand for a specific sum or permits recovery . . . in excess of the sum demanded." 28 U.S.C. § 1446(c)(2)(A) & (B). However, in the absence of either of those circumstances, a plaintiff may avoid removal to federal court by making, in its initial pleading, an enforceable stipulation that the amount recovered will be limited to an amount below the federal jurisdictional amount. See *Durbois v. Deutsche Bank National Trust Co.*, 37 F.4th 1053 (5th Cir. 2022). See generally *Standard Fire Insurance v. Knowles*, 568 U.S. 588, 595 (2013) (noting "that federal courts permit individual plaintiffs, who are the masters of their complaints, to avoid removal to federal court, and to obtain a remand to state court, by stipulating to amounts at issue that fall below the federal jurisdictional requirement.")

Here, the facts do not indicate either of the circumstances that would permit a defendant to prove a higher amount in controversy. First, Coach's complaint does not seek nonmonetary relief. Second, Coach has limited the damages she seeks to \$74,999 and has stipulated in an affidavit attached to her complaint that she will not seek or accept a greater award. The facts further indicate that the limitation in the complaint and stipulation is enforceable under state law. In this circumstance, the federal court must respect Coach's choice to limit her damages and remand the case to state court for lack of federal subject-matter jurisdiction. Thus, the fact that Coach suffered losses of \$130,000 is irrelevant. *Cf. Dart Cherokee Basin Operating Co., LLC v. Owens*, 574 U.S. 81 (2014) (where plaintiff has not made a binding limitation on damages, defendant's amount-in-controversy allegation in removal motion should be accepted if not challenged by plaintiff or if defendant establishes by a preponderance of the evidence that the amount in controversy exceeds the jurisdictional threshold).

[NOTE: Federal courts will sometimes refuse to honor a plaintiff's stipulation that damages will be below the federal jurisdictional limit when such a stipulation is made in "bad faith." See *Hamilton v. Mike Bloomberg 2020 Inc.*, 474 F. Supp. 3d 836 (N.D. Tex. 2020) (Hamilton's attempt to limit damages claim was in "bad faith" because demand in complaint was made "in contravention of the state law's pleading requirements."). However, a desire to avoid removal to federal court does not, in and of itself, demonstrate bad faith. There is "nothing wrong with a plaintiff's desire to litigate his claims in state court," even when accomplished by means of a stipulation limiting his damages designed to prevent removal to a federal forum. *Durbois, supra*, 37 F.4th at 1060. Accordingly, no credit should be given for discussion of a bad-faith stipulation.]

Point Two (30%)

Assuming that the court has subject-matter jurisdiction and the case is not remanded, the federal court would have personal jurisdiction over defendant Fran because she was served with process while she was knowingly and voluntarily physically present in State A. For that reason, the case should not be dismissed for lack of personal jurisdiction.

A federal court may exercise personal jurisdiction over a defendant if the defendant is "subject to the jurisdiction of a court of general jurisdiction in the state where the district court is located." Fed. R. Civ. P. 4(k)(1)(A). Here, Fran was served with process in State A, and State A statutes provide that in-state service is sufficient grounds for a State A court to exercise personal jurisdiction over an out-of-state defendant. The question is therefore whether jurisdiction based solely upon in-state service is constitutional.

In *Burnham v. Superior Court*, 495 U.S. 604 (1990), the Supreme Court unequivocally upheld the constitutionality of personal jurisdiction over a person who is personally served

by hand delivery with process while knowingly and voluntarily physically present in a state for a brief period of time. Jurisdiction on this basis is sometimes referred to as "tag" jurisdiction. "[J]urisdiction based on physical presence alone" satisfies due process, said the Court, simply because the exercise of jurisdiction on that basis "is one of the continuing traditions of our legal system." *Id.* at 619. No inquiry into fairness is needed for "a jurisdictional principle [that] is both firmly approved by tradition and still favored." *Id.* at 622.

In short, the federal court could exercise personal jurisdiction over Fran because Fran was personally served within the territory of State A, and State A authorizes the exercise of personal jurisdiction on that basis. Because Fran was knowingly and voluntarily in State A to attend a basketball game, personal service within the territory of State A satisfies the requirements of due process.

[NOTE: Removal of an action filed in state court to federal court "does not constitute a waiver [by defendant] of any right to object to lack of personal jurisdiction, but after removal the federal court takes up the case where the state court left off." *Nationwide Eng'g & Control Sys., Inc. v. Thomas*, 837 F.2d 345, 347–48 (8th Cir. 1988) (internal citation omitted). See 5C Charles Alan Wright & Arthur R. Miller, *Federal Practice and Procedure* § 1395 (3rd ed. 2019). Following removal, the Federal Rules of Civil Procedure are applicable. Fed. R. Civ. P. 81(c)(1). Thus, Fran may properly move to dismiss the case for lack of personal jurisdiction. *Danziger & De Llano LLP v. Morgan Verkamp LLC*, 948 F.3d 124 (3rd Cir. 2020).]

Point Three (10%)

Assuming that the federal court has subject-matter and personal jurisdiction, and the case is not remanded, venue over the action is properly in the federal district court for State A because the removal statute authorizes removal only to that court.

The federal removal statute specifies venue for cases that are initially filed in state court and subsequently removed to federal court. Where a case is removed, removal must be to the "district court of the United States for the district and division embracing the place where such action is pending." 28 U.S.C. § 1441(a). *See also* 28 U.S.C. § 1446(a). Thus, because the action was initially filed in State A state court, venue is proper in the federal district court for the District of State A. *See, e.g., Burlington Northern & Santa Fe Ry. Co. v. Herzog Services, Inc.*, 990 F. Supp. 503 (N.D. Texas 1998). Thus, the State A federal court should not dismiss the case for improper venue.

[NOTE: Examinees might discuss whether venue would have been proper if the case had been filed initially in State H federal court or whether the State A federal court should transfer the case to the State H federal court. Had Coach's action been filed initially in

federal court, then the appropriate venue would have been a judicial district in which Fran (the defendant) resided or a judicial district in which "a substantial part of the events or omissions giving rise to the claim occurred." 28 U.S.C. § 1391(b)(1) & (2). Arguably, this rule would have required the action to be brought in State H, where Fran resides and where Fran made the allegedly defamatory comments. An examinee should not receive credit for discussing either of these points because the call of the question asks only whether the court to which the case was removed (State A federal court) has proper venue.]

**FEBRUARY 2025 MEE
ANALYSIS 5 – EVIDENCE**

EVD (I.A.2; II.A.1, B.; V.B)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

The admissibility of the following evidence:

- (1) Bank's original video recording of its lobby, counters, and tellers from April 18, 2024, in which David appears.
- (2) The testimony of Bank's investigator as to Customer's oral complaint.
- (3) The written report by the investigator, if the investigator is unable to recall details of the investigation or writing the report.

DISCUSSION

Summary

The video recording is relevant to show the scene of the alleged crime and the presence of David, the defendant, in Bank's lobby at the time of the crime. However, it is admissible only if the investigator is able to authenticate the recording by testifying that the video recording fairly and accurately depicts Bank's lobby, counters, and teller area on the day and time in question.

The testimony of Bank's investigator as to Customer's oral complaint is admissible. The complaint is relevant to establish that the money was impermissibly taken from Bank. It is admissible hearsay pursuant to either the present sense impression or excited utterance exception to the general prohibition on hearsay testimony.

The investigator's report can be used to refresh the investigator's recollection, but it is inadmissible unless David requests its admission.

Point One (30% total weight)

The video recording is highly relevant, and the trial court should admit it if the investigator is able to authenticate it.

The video is relevant. (10%)

The video recording is admissible (a) if relevant and (b) if a trial witness, such as the investigator, can properly authenticate it.

Only "[r]elevant evidence is admissible Irrelevant evidence is not admissible." Fed. R. Evid. 402. "Evidence is relevant if (a) it has any tendency to make a fact more or less probable than it would be without the evidence; and (b) the fact is of consequence in determining the action." Fed. R. Evid. 401. To prove David's guilt of the charge, the prosecution must establish (among other things) Bank as the victim of the crime, the date and time when the crime occurred, and David's participation in the crime. According to the facts, David denies being at Bank on the day in question. The video recording will show the lobby, counters, and tellers on April 18, 2024, as well as David's presence in Bank on that day during the alleged crime. The recording thus is relevant to show the location, day, and time of the crime charged and what allegedly occurred.

The video is admissible, subject to authentication by the investigator as showing the bank lobby at the time the check was cashed. (20%)

The requirement of authentication is a special form of the relevance requirement, see Fed. R. Evid. 901(a) Advisory Cmte. Note, and the video recording must be properly authenticated before it can be admitted. "To satisfy the requirement of authenticating or identifying an item of evidence, the proponent must produce evidence sufficient to support a finding that the item is what the proponent claims it to be." Fed. R. Evid. 901(a). Here, the prosecution will claim that the video recording portrays Bank's lobby on the date and time in question. Pursuant to Rule 901(b)(1), the prosecutor may authenticate the video recording by offering testimony from a witness with knowledge that the video recording is what it is claimed to be. Fed. R. Evid. 901(b)(1). The operator of the video recording equipment need not testify to sufficiently authenticate the item. *United States v. Stephens*, 202 F. Supp. 2d 1361, 1368 (N.D. Ga. 2002). Testimony by a witness with knowledge that the recording accurately represents the scene or activity depicted is sufficient. Christopher B. Mueller, Laird C. Kirkpatrick, And Liesa Richter, *Evidence* § 9:14—Photographs, Videotapes, X-rays (6th ed. 2018).

The question is whether the investigator, who was not present in the lobby at the date and time that the check was cashed, can provide sufficient evidence to authenticate the video as (1) a recording of the lobby and (2) at the specific date and time that the check was cashed. The facts show that the investigator accessed the original recording

immediately after the complaint was made, which in turn was immediately after the bank withdrawal. The investigator also worked as a fraud investigator at Bank for 10 years in an office next to Bank's lobby and thus is presumably familiar with the bank's surveillance systems. Accordingly, the investigator should be able to testify with personal knowledge that the video fairly and accurately depicted the (1) Bank's lobby, counters, and teller area as they existed on April 18, 2024, and (2) more specifically, that the video recorded the time period immediately preceding the investigator's accessing it (i.e., the time period during which David was in the bank). Cf. *U.S. v. Brewer*, 915 F.3d 408, 417 (7th Cir. 2019) (eyewitness testimony of bank teller that video accurately depicted events of bank robbery was sufficient to authenticate). Authentication requires only a sufficiency showing, and the investigator need not be the operator of the video or have personally observed the lobby at the time. So long as the investigator can testify with personal knowledge that the video is a recording of the bank lobby from the time of the incident, the video should be admissible as properly authenticated.

[NOTE#1: Discussion of the original writing a/k/a best evidence rule is unnecessary for two reasons. First, as stated in the facts, the video recording is the original; therefore its admission satisfies the original writing rule. Fed. R. Evid. 1002. Second, in testimony, the investigator would be adopting the video recording to illustrate a place with which the investigator is familiar and of which he has personal knowledge (i.e., Bank's lobby), rather than testifying to the contents of the video recording, and the former does not invoke the original writing rule. See Fed. R. Evid. 1002 Advisory Cmte. Note.]

[NOTE #2: FRE 902(14) provides that certified data copied from an electronic device is self-authenticating, as long as the certification complies with the requirements of the business records rule. Here, the question is framed as the admission of the video recording via the investigator's testimony, and so discussion should focus on the investigator's ability to authenticate the video rather than certification or self-authentication.]

[NOTE #3: The investigator will not have to prove that the person who appears in the video is David, the defendant. It will be enough for the investigator to testify that the video accurately depicts what happened in Bank's lobby on the day in question. The jury will be entitled to judge for itself whether the person who appears in the video is David.]

Point Two (50%)

The trial court should admit the investigator's testimony as to Customer's oral complaint.

As noted in Point One, only relevant evidence is admissible, and evidence is relevant if "it has any tendency to make a fact of consequence more or less probable than it would be without the evidence." Fed. R. Evid. 401. Here, Customer's complaint is relevant to

show that she did not authorize anyone, including David, to obtain \$1,000 from her checking account on April 18, 2024, and therefore that David obtained money from Bank by means of false or fraudulent pretenses.

Customer's complaint should be deemed admissible hearsay. According to Rule 802, "[h]earsay is not admissible" subject to exception. Fed. R. Evid. 802. "Hearsay" is defined as "a statement that: (1) the declarant does not make while testifying at the current trial or hearing; and (2) a party offers in evidence to prove the truth of the matter asserted in the statement." Fed. R. Evid. 801(c). The declarant is "the person who made the statement" and a "statement" is "a person's oral assertion, written assertion, or nonverbal conduct, if the person intended it as an assertion." Fed. R. Evid. 801(a) & (b).

Here, Customer's oral complaint about the \$1,000 withdrawal was made over the phone to the investigator, not in the current court proceeding. Customer's statement also is being offered for the truth of the assertion, i.e., to establish that the \$1,000 was withdrawn without Customer's permission. Accordingly, Customer's complaint meets the definition of hearsay under the rules.

Although hearsay is generally inadmissible, it may be admitted regardless of whether the declarant is available as a witness if it satisfies an exception. Fed. R. Evid. 803. Here, for Customer's complaint to the investigator, one potentially applicable exception is for present sense impressions and another is for an excited utterance.

A present sense impression is "[a] statement describing or explaining an event or condition, made while or immediately after the declarant perceived it." Fed. R. Evid. 803(1). An excited utterance is "[a] statement relating to a startling event or condition, made while the declarant was under the stress of excitement that it caused." Fed. R. Evid. 803(2). These two exceptions significantly overlap; both require "spontaneity." Fed. R. Evid. 803 Advisory Cmte. Note to R. 803. "The most significant practical difference will lie in the time lapse allowable between event and statement." *Id.* Present sense impressions require a "substantial contemporaneity of event and statement" that "negative[s] the likelihood of deliberate or conscious misrepresentation." *Id.* A "slight lapse" in time is allowable; however, the amount of time lapse depends on the situation. *Id.*

Excited utterances depend upon the existence of "a condition of excitement which temporarily stills the capacity of reflection and produces utterances free of conscious fabrication." *Id.*

Here, either exception may apply. Customer called Bank to complain about an event, i.e., the unauthorized charge of \$1,000, shortly after she was alerted to the transaction by her banking app. Because Customer made the call just after learning of the unauthorized charge, the complaint constitutes a present sense impression. However, if there has been

more than a "slight" passage of time, then the court may conclude that the present sense impression exception is inapplicable. Even if the present sense impression exception does not apply, the excited utterance exception may apply. Here, Customer sounded frustrated and angry when lodging the complaint with the investigator. Her excited emotional state while speaking to the investigator was a result of the startling event, i.e., the unauthorized charge of \$1,000. Thus, Customer's statement to the investigator may constitute an excited utterance. In sum, the trial court should determine that Customer's oral complaint is admissible hearsay}.

[NOTE: Although either exception on its own would likely overcome a hearsay objection to admission of this evidence, better answers will discuss both exceptions.

Point Three (20%)

The investigator's report, or any portion thereof, is inadmissible unless it is used to refresh the investigator's memory and David requests that it be admitted.

The investigator's report is hearsay if it is offered to prove the truth of the matters stated in the report because the report is an out-of-court statement. See Fed. R. Evid. 801(c). The call instructs the examinee to assume that the report does not fall within the business records exception to the hearsay rule. The question, therefore, is whether any other exception to the hearsay rule would apply to the investigator's report.

If the investigator testifies (as the question suggests he will) that he cannot remember writing the report, then the report will not fall within the recorded recollection hearsay exception; that exception requires that the author of the writing be able to testify that the report accurately reflects his knowledge at the time he wrote it. Fed. R. Evid. 803(5)(C). The investigator could not so testify if he does not recall writing the report at all.

However, a witness may use any writing to refresh the witness's memory while testifying. Fed. R. Evid. 612(a). Refreshing a witness's memory can be done even with a writing that is not admitted or admissible. Paul C. Giannelli, *Understanding Evidence* § 21.03 – Refreshment; Types of Writings (5th ed. 2018). When used in this way, a writing may be admitted if it is introduced by the opposing party for impeachment purposes but is not otherwise admissible unless some other evidence rule authorizes its admission. Fed. R. Evid. 612(b); Giannelli, *supra* § 21.05 – Admissibility.

Here, if the investigator genuinely cannot recall the investigation or writing the report, he may review the report in an effort to refresh his memory. Assuming that the investigator's memory about the investigation is refreshed, then the investigator may testify without relying on the report, but the investigator cannot read aloud from the report, *see* Giannelli, *supra* § 21.04 – Lack of Memory Requirement, and the report cannot be admitted as

evidence. However, David will have the option to "introduce in evidence any portion that relates to the witness's testimony." Fed. R. Evid. 612(b).

If, after reviewing the report, the investigator recalls writing it and is able to testify that it accurately reflected his knowledge when it was written, then the report may be admissible as a recorded recollection.

FEBRUARY 2025 MEE
ANALYSIS 6 – TRUSTS AND DECEDENTS' ESTATES

TRU (I.A., C. & I.) / DEC (IV.)

This analysis addresses all the legal and factual issues raised in the question. While it is illustrative of the discussions that might have appeared in excellent answers to the question, it is more detailed than examinee responses are expected to be and should not be construed as a model answer. Note that any changes to the relevant law since this analysis was prepared may affect its substantive accuracy.

ANALYSIS

Legal Problems:

- (1) Is the trust revocable or irrevocable?
- (2)(a) Does Shirley have an interest in the trust?
- (2)(b) Assuming that Shirley has an interest in the trust, how is that interest characterized under the Uniform Trust Code?
- (3) Assuming that Shirley has an interest in the trust, does she have any claim against the bank for making the imprudent investment?
- (4) Who has the legal authority to direct the doctor whether to remove Alice from the life-support system?

DISCUSSION

Summary

Under the Uniform Trust Code, if a trust instrument is silent regarding whether the trust is revocable or irrevocable, it is revocable. This rule applies here because Alice's trust was created after the jurisdiction adopted the Uniform Trust Code. Because Alice's trust is silent regarding revocability, the trust is revocable.

The trust provides that upon Alice's death, Shirley is entitled to the principal of the trust. Thus, she has an interest in the trust. Under the common law as incorporated by the Uniform Trust Code, Shirley's interest is characterized as a vested remainder subject to being divested.

Under the Uniform Trust Code, during Alice's lifetime the trustee's duties are owed exclusively to Alice. Therefore, Shirley has no claim against the trustee (the bank) for

making an imprudent investment even though she has a remainder interest in the trust as a trust beneficiary.

Only John, the agent under Alice's health-care power of attorney, is legally entitled to make the decision whether to remove Alice from the life-support system.

Point One (25%)

Under the Uniform Trust Code, Alice's trust is revocable because she did not address revocability in the trust instrument.

Under the common law, if a trust instrument was silent regarding whether the trust was revocable or irrevocable, it was deemed irrevocable. Section 602(a) of the Uniform Trust Code rejects that rule and takes the position that unless the trust instrument expressly provides that it is irrevocable, the trust is revocable by the settlor.

Alice, the settlor, created her trust 6 years ago, and the governing jurisdiction's adoption of the Uniform Trust Code was 10 years ago. This is significant because the Uniform Trust Code applies section 602(a) only to a trust created after the enactment of the statute. UTC § 602(a). Since Alice's trust was created after enactment of the Uniform Trust Code, the statute's rule applies to her trust instrument. Because that document does not address revocability, the trust is deemed revocable under the Uniform Trust Code.

Point Two(a) (10%)

Shirley has an interest in the trust.

Shirley has an interest in the trust only if she meets the Uniform Trust Code's definition of a beneficiary. Under the Code, a beneficiary is a person that "has a present or future interest in a trust, vested or contingent." UTC § 103(3). Shirley meets this definition because under the trust's terms she is entitled to the trust's principal upon Alice's death.

Point Two(b) (10%)

Under the common law as incorporated by the Uniform Trust Code, Shirley has a vested remainder subject to being divested.

The Uniform Trust Code does not characterize the beneficial interest that Shirley has in the trust but leaves that matter to other state law. See UTC § 106 ("The common law of trusts . . . supplements this [Code], except to the extent modified by this [Code] . . ."). At the time Alice created the revocable trust and at the time Shirley contacted the bank trust officer regarding the trust's investment, the common law would characterize her interest

in the trust as a vested remainder subject to being divested because that interest followed the end of Alice's interest for life and was subject to Alice's not having revoked the trust.

[NOTE: While Shirley's interest is characterized as a remainder under the Third Restatement of Property § 25.2 ("A future interest is a remainder if it was created in a transferee."), the Third Restatement's characterization has yet to be adopted by any state. An answer that mentions only that Shirley's interest is a remainder should not receive full credit.]

Point Three (35%)

Even though Shirley is a beneficiary of the trust, she has no claim against the bank for the imprudent investment because at the time it was made, no duties were owed to Shirley that were breached by the making of the investment.

Shirley is a remainder person of the trust. See Point Two(b). As such she is a beneficiary of the trust. UTC § 103(3). However, as noted in Point One, the trust is revocable. Under § 603(b) of the Uniform Trust Code, the duties of the trustee of a revocable trust "are owed exclusively to the settlor" if the settlor has the capacity to revoke the trust. No duties are owed to other beneficiaries of the trust. Thus, Shirley has no claim against the bank for its imprudent investment.

[NOTE: Even apart from § 603(b), there is a strong argument that Shirley has no claim against the bank for its imprudent investment of a trust asset given that Alice, the settlor of the trust, at a time when she was fully competent and knew that the investment was imprudent, approved the making of the investment. While the original trust instrument limited the trustee to "prudent investments," Alice's approval to invest in an imprudent investment was effectively an amendment of the trust, and a settlor who retains the power to revoke the trust also has the power to amend the trust. UTC § 602(a). See also Restatement (Third) Of Trusts § 63 cmt. g. (2003).]

Point Four (20%)

Only John, the agent under Alice's health-care power of attorney, is legally authorized to direct the doctor whether to remove Alice from the life-support system.

Health-care powers of attorney are authorized throughout the United States. These powers typically authorize the principal's named agent to make health-care decisions on the principal's behalf if the principal is unable to make a health-care decision for herself. See, e.g., Unif. Health-Care Decisions Act (2023) § 11 (providing a health-care power form that includes the clause: "I want the following person to make health-care decisions

for me if I cannot make decisions for myself.") and § 18 (the power of an agent commences when the principal "lack[s] capacity to make a health-care decision....").

Here, Alice named John to act for her if she was unable to make a health-care decision for herself. The facts state that Alice's physician has determined that Alice is unable to make health-care decisions for herself, the precondition for the agent's authority to act. Thus John, not Shirley, has the legal authority to direct the doctor whether to remove Alice from the life-support system.

[NOTE: No credit should be given to an answer that discusses whether Alice should be removed from the life-support system. Such an answer is not responsive to the call, which asks only who has the legal authority to make that decision.]